The Snowball

Warren Buffett and the Business of Life

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BANTAM BOOKS

To David

It is the winter of Warren's ninth year. Outside in the yard, he and his little sister, Bertie, are playing in the snow.

Warren is catching snowflakes. One at a time at first. Then he is scooping them up by handfuls. He starts to pack them into a ball. As the snowball grows bigger, he places it on the ground. Slowly it begins to roll. He gives it a push, and it picks up more snow. He pushes the snowball across the lawn, piling snow on snow. Soon he reaches the edge of the yard. After a moment of hesitation, he heads off, rolling the snowball through the neighborhood.

And from there, Warren continues onward, casting his eye on a whole world full of snow.

PART ONE

The Bubble



1

The Less Flattering Version

Omaha • June 2003

Warren Buffett rocks back in his chair, long legs crossed at the knee behind his father Howard's plain wooden desk. His expensive Zegna suit jacket bunches around his shoulders like an untailored version bought off the rack. The jacket stays on all day, every day, no matter how casually the other fifteen employees at Berkshire Hathaway headquarters are dressed. His predictable white shirt sits low on the neck, its undersize collar bulging away from his tie, looking left over from his days as a young businessman, as if he had forgotten to check his neck size for the last forty years.

His hands lace behind his head through strands of whitening hair. One particularly large and messy finger-combed chunk takes off over his skull like a ski jump, lofting upward at the knoll of his right ear. His shaggy right eyebrow wanders toward it above the tortoiseshell glasses. At various times this eyebrow gives him a skeptical, knowing, or beguiling look. Right now he wears a subtle smile, which lends the wayward eyebrow a captivating air. Nonetheless, his pale-blue eyes are focused and intent.

He sits surrounded by icons and mementos of fifty years. In the hallways outside his office, Nebraska Cornhuskers football photographs, his paycheck from an appearance on a soap opera, the offer letter (never accepted) to buy a hedge fund called Long-Term Capital Management, and Coca-Cola memorabilia everywhere. On the coffee table inside the office, a classic Coca-Cola bottle. A baseball glove encased in Lucite. Over the sofa, a certificate that he completed Dale Carnegie's public-speaking course in January 1952. The Wells Fargo stagecoach, westbound atop a bookcase. A Pulitzer Prize, won in 1973 by the *Sun* Newspapers of Omaha, which his investment partnership owned. Scattered about the room are books and newspapers. Photographs of his family and friends cover the credenza and a side table, and sit under the hutch beside his desk in place of a computer. A large portrait of his father hangs above Buffett's head on the wall behind his desk. It faces every visitor who enters the room.

Although a late-spring Omaha morning beckons outside the windows, the brown wooden shutters are closed to block the view. The television beaming toward his desk is tuned to CNBC. The sound is muted, but the crawl at the bottom of the screen feeds him news all day long. Over the years, to his pleasure, the news has often been about him.

Only a few people, however, actually know him well. I have been acquainted with him for six years, originally as a financial analyst covering Berkshire Hathaway stock. Over time our relationship has turned friendly, and now I will get to know him better still. We are sitting in Warren's office because he is not going to write a book. The unruly eyebrows punctuate his words as he says repeatedly, "You'll do a better job than I would, Alice. I'm glad you're writing this book, not me." Why he would say that is something that will eventually become clear. In the meantime, we start with the matter closest to his heart.

"Where did it come from, Warren? Caring so much about making money?"

His eyes go distant for a few seconds, thoughts traveling inward: *flip flip flip* through the mental files. Warren begins to tell his story: "Balzac said that behind every great fortune lies a crime.[1] That's not true at Berkshire."

He leaps out of his chair to bring home the thought, crossing the room in a couple of strides. Landing on a mustardy-gold brocade armchair, he leans forward, more like a teenager bragging about his first romance than a seventy-two-year-old financier. How to interpret the story, who else to interview, what to write: The

book is up to me. He talks at length about human nature and memory's frailty, then says, "Whenever my version is different from somebody else's, Alice, use the less flattering version."

Among the many lessons, some of the best come simply from observing him. Here is the first: Humility disarms.

In the end, there won't be too many reasons to choose the less flattering version—but when I do, human nature, not memory's frailty, is usually why. One of those occasions happened at Sun Valley in 1999.

2

Sun Valley

Idaho • July 1999

Warren Buffett stepped out of his car and pulled his suitcase from the trunk. He walked through the chain-link gate onto the airport's tarmac, where a gleaming white Gulfstream IV jet—the size of a regional commercial airliner and the largest private aircraft in the world in 1999—waited for him and his family. One of the pilots grabbed the suitcase from him to stow in the cargo hold. Every new pilot who flew with Buffett was shocked to see him carrying his own luggage from a car he drove himself. Now, as he climbed the boarding stairs, he said hello to the flight attendant—somebody new—and headed to a seat next to a window, which he would not glance out of at any time during the flight. His mood was buoyant; he had been anticipating this trip for weeks.

His son Peter and daughter-in-law Jennifer, his daughter Susan and her boyfriend, and two of his grandchildren all settled into their own café au lait leather club chairs set around the forty-five-foot-long cabin. They swiveled their seats away from the curved wall panels to give themselves more space as the flight attendant brought drinks from the galley, which was stocked with the family's favorite snacks and beverages. A pile of magazines lay nearby on the sofa: *Vanity Fair,* the *New Yorker, Fortune, Yachting,* the *Robb Report,* the *Atlantic Monthly,* the *Economist, Vogue, Yoga Journal.* She brought Buffett an armload of newspapers instead, along with a basket of potato chips and a Cherry Coke that matched his red Nebraska sweater. He complimented her, chatted for a few minutes to ease her nervousness at flying for the first time with her boss, and told her that she could let the copilot know that they were ready to take off. Then he buried his head in a newspaper as the plane rolled down the runway and ascended to forty thousand feet. For the next two hours, six people hummed around him, watching videos, talking, and making phone calls, while the flight attendant set out linens and bud vases filled with orchids on the bird's-eye maple dining tables before returning to the galley to prepare lunch. Buffett never moved. He sat reading, hidden behind his newspapers, as if he were alone in his study at home.

They were flying in a $30 million airborne palace called a "fractional" jet. As many as eight owners shared it, but it served as part of a fleet, so all the owners could fly at once if they wished. The pilots in the cockpit, the crew that maintained it, the schedulers who got it to the gate on six hours' notice, and the flight attendant who served their lunch all worked for NetJets, which belonged to Warren Buffett's company, Berkshire Hathaway.

Sometime later, the G-IV crossed the Snake River Plain and approached the Sawtooth Mountains, a vast Cretaceous upheaval of dark and ancient granite mounds baking in the summer sun. It sailed through the bright clear air into the Wood River Valley, descending to eight thousand feet, where it started to buck on the mountain wave of turbulence thrown into the sky by the brown foothills beneath. Buffett read on, unperturbed, as the plane rocked and his family jerked about in their seats. Brush dotted higher altitudes of a second ridge of hills and rows of pines began their march up the ridges between ravines on the leeward side.

The family grinned with anticipation. As the aircraft descended through the narrowing slot between the rising mountain peaks ahead, the midday sun cast the plane's lengthening shadow over the old mining town of Hailey, Idaho.

A few seconds later, the wheels touched down on the Friedman Memorial Airport runway. By the time the Buffetts had bounded down the stairs onto the tarmac, squinting in the July sunshine, two SUVs had driven through the gate and pulled up alongside the jet, driven by men and women from Hertz. They all wore the company's gold-and-black shirts. Instead of Hertz, however, the logo said "Allen & Co."

The grandchildren bounced on their heels as the pilots unloaded the luggage, tennis rackets, and Buffett's red-and-white Coca-Cola golf bag into the SUVs. Then he and the others shook hands with the pilots, said good-bye to the flight attendant, and climbed into the SUVs. Bypassing Sun Valley Aviation—a pocket-size trailer at the runway's southern end—they swung through the chain-link gate onto the road that led to the peaks beyond. About two minutes had elapsed since the plane's wheels first touched the runway.

Right on schedule, eight minutes later, another jet followed theirs, headed to its own runway parking spot.

Throughout the golden afternoon, jet after jet cruised into Idaho from the south and east or swung around the peaks from the west and descended into Hailey: workhorse Cessna Citations; glamorous, close-quartered Learjets; speedy Hawkers; luxurious Falcons; but mostly the awe-inspiring G-IVs. As the afternoon waned, dozens of huge, gleaming white aircraft lined the runway like a shop window full of tycoons' toys.

The Buffetts followed the trail blazed by earlier SUVs a few miles onward from the airport to the tiny town of Ketchum on the edge of the Sawtooth National Forest, near the turnoff to the Elkhorn Pass. A few miles later, they rounded Dollar Mountain, where a green oasis appeared, nestled among the brown slopes. Here amid the lacy pines and shimmering aspens lay Sun Valley, the mountains' most fabled resort, where Ernest Hemingway began writing *For Whom the Bell Tolls,* where Olympic skiers and skaters had long made their second home.

The tide of families they were joining this Tuesday afternoon all had some connection to Allen & Co., a boutique investment bank that specialized in the media and communications industries. Allen & Co. had put together some of the biggest mergers in Hollywood, and for more than a decade had been hosting an annual series of discussions and seminars mingled with outdoor recreation at Sun Valley for its clients and friends. Herbert Allen, the firm's CEO, invited only people he liked, or those with whom he was at least willing to do business.

Thus the conference was always filled with faces both famous and rich: Hollywood producers and stars like Candice Bergen, Tom Hanks, Ron Howard, and Sydney Pollack; entertainment moguls like Barry Diller, Rupert Murdoch, Robert Iger, and Michael Eisner; socially pedigreed journalists like Tom Brokaw, Diane Sawyer, and Charlie Rose; and technology titans like Bill Gates, Steve Jobs, and Andy Grove. A pack of reporters lay in wait for them every year outside the Sun Valley Lodge.

The reporters had traveled a day earlier to the Newark, New Jersey, airport or some similar embarkation point to board a commercial flight to Salt Lake City, then raced to Concourse E's bullpen to sit amid a crush of people waiting for flights to places like Casper, Wyoming, and Sioux City, Iowa, until it was time to cram themselves into a prop plane for the one-hour bronco ride to Sun Valley. On arrival their plane was directed to the opposite end of the airport next to the tennis-court-size terminal, where they witnessed a crew of tanned young Allen & Co. employees dressed in pastel "SV99" polo shirts and white shorts welcoming the handful of Allen & Co. guests who were arriving early on commercial flights. These were instantly recognizable among the other passengers: men in Western boots and Paul Stuart shirts with jeans, women wearing goatskin-suede jackets and marble-size turquoise beads. The Allen staff had memorized the newcomers' faces from photographs supplied in advance. They hugged people they had gotten to know in years past as if they were old friends, whisked away all the guests' bags, and led their charges off to the SUVs lined up steps away in the parking lot.

The reporters went to the rental-car desk, then drove to the Lodge, by now acutely conscious of their lowly

status. For the next few days, many areas of Sun Valley would be marked as "private," blocked from prying eyes by closed doors, omnipresent security, hanging flower baskets, and large potted plants. The reporters would lurk around the fringes, excluded from the interesting things going on inside, noses pressed against the bushes.[1] Ever since Disney's Michael Eisner and Capital Cities/ABC's Tom Murphy had dreamed up a deal to merge their companies at Sun Valley '95 (the way the conference was often referred to—as if it had engulfed the entire resort, which, in a way, it had), the press coverage had grown until it took on the artificially giddy atmosphere of a business version of Cannes. The mergers that splintered off from Sun Valley, however, were only occasional calves from an iceberg. Sun Valley was about more than making deals, though the deals garnered most of the press. Every year the rumors sizzled that this company or that was working on a deal at the mysterious conclave in the Idaho mountains. Thus, as the SUVs rolled one by one into the porte cochere, the reporters peered through the front windows to see who was inside. When someone newsworthy arrived, they chased their prey into the lodge, brandishing cameras and microphones.

The press quickly recognized Warren Buffett as he stepped out of his SUV. "The DNA of the conference had him built into it," said his friend Don Keough, chairman of Allen & Co.[2] Most of the press people liked Buffett, who went out of his way not to be disliked by anyone. He also intrigued them. His public image was that of a simple man, and he seemed genuine. Yet he lived a complicated life. He owned five homes but occupied only two of them. Somehow he had wound up having, in effect, two wives. He spoke in homely aphorisms with a kindly twinkle in his eye and had a notably loyal group of friends, yet along the way he had earned a reputation as a tough, even icy dealmaker. He seemed to shun publicity yet managed to attract more of it than almost any other businessman on earth.[3] He jetted around the country in a G-IV, often attended celebrity events, and had many famous friends, yet said that he preferred Omaha, hamburgers, and thrift. He spoke of his success as being based on a few simple investing ideas and tap-dancing to work with enthusiasm every day, but if that was so, why had nobody else been able to replicate it?

Buffett, as always, gave the photographers a willing wave and a grandfatherly smile as he walked by. They captured him on film, then began peering at the next car.

The Buffetts drove around to their French-country-style condominium, one of the coveted Wildflower group next to the pool and tennis courts, where Herbert Allen housed his VIPs. Inside, the usual loot awaited them: a pile of Allen & Co. SV99 logo jackets, baseball caps, zip fleeces, polo shirts—every year a different color—and a zippered notebook. Despite his fortune of more than $30 billion—enough to buy a thousand of those G-IVs parked out at the airport—Buffett liked few things more than getting a free golf shirt from a friend. He took the time to look carefully through this year's swag. Of even more interest to him, however, was the personal note that Herbert Allen sent to each guest—and the perfectly organized conference notebook that explained what Sun Valley had in store for him this year.

Timed to the second, organized to the hilt, crisp as Herbert Allen's French cuffs, Buffett's schedule was laid out hour by hour, day by day. The notebook spelled out the conference speakers and topics—until now a closely guarded secret—and the luncheons and dinners that he would attend. Unlike the other guests, Buffett knew much of this in advance, but he still wanted to see what the notebook had to say.

Herbert Allen, the so-called "Lord of Sun Valley" and the conference's quiet choreographer, set the tone of casual luxury that pervaded the event. People always cited him for high principles, brilliance, good advice, and generosity. "You'd like to die with the respect of somebody like Herbert Allen," a guest gushed. Afraid of being disinvited to the conference, those who voiced any criticism rarely went beyond vague hints that Herbert was "unusual," restless, impatient, and possessed of an oversize personality. Standing in the shadow of his tall, wiry frame, one had to strain to keep up with the words that crackled forth like machine-gun fire. He barked questions, then cut off respondents mid-sentence, lest they waste a second of his time. He specialized in saying the unsayable. "Ultimately Wall Street will be eliminated," he once told a reporter, although he ran a Wall Street bank. He referred to his competitors as "hot-dog vendors."[4]

Allen kept his firm small, and his bankers staked their own money on their deals. This unconventional approach made the firm a partner rather than a mere servant to its clients, who were the elite of Hollywood and the media world. Thus, when he played host, his guests felt privileged, rather than like captives pitched

by salesmen at every turn. Allen & Co. arranged a detailed social agenda every year built around each guest's personal network of relationships—which the firm understood—and the new people that Allen's majordomos felt each should meet. Unspoken hierarchies dictated the distances of the guests' condominiums from the Inn (where meetings were held), which meals the guests were invited to attend, and with whom they would be seated.

Buffett's friend Tom Murphy referred to this kind of event as "elephant-bumping." "Anytime a bunch of big shots get together," says Buffett, "you can get people to come, because it reassures them if they're at an elephant-bumping that they're an elephant too."[5]

Sun Valley was always very reassuring, because unlike most elephant bumps, one could not buy one's way in. The result was a sort of faux democracy of the elite. Part of the thrill of coming was to see who was not invited, and, more thrilling still, who was disinvited. Yet within their stratum, people did develop genuine relationships. Allen & Co. fostered conviviality through lavish entertainment, beginning on the first evening, when the guests donned Western gear, climbed into old-fashioned horse-drawn wagons, and followed cowboys up a winding trail past a natural stone spire onto Trail Creek Cabin meadow. There, Herbert Allen or one of his two sons greeted the guests as the sun began to set. Cowboys entertained the children with rope tricks near a large white tent bedecked with urns of scarlet petunias and blue sage, while the Sun Valley old guard reunited and welcomed new guests as they stood side by side in line, plate in hand, for a buffet of steaks and salmon. The Buffetts usually ended the evening sitting with friends around the bonfire beneath the star-dappled western sky.

The frolicking continued on Wednesday afternoon with an optional and very mild white-water paddle down the Salmon River. On this trip relationships blossomed, for Allen & Co. orchestrated who sat where on the bus to the embarkation point as well as on the rafts. The river guides steered through the mountain valley in silence, lest they interrupt conversations and disturb budding alliances. Spotters hired from the local population and ambulances lined the route in case someone tumbled into the freezing water. The guests were handed warm towels as soon as they put down their paddles and stepped out of the rafts, then served plates of barbecue.

Those not rafting could be found fly-fishing, horseback riding, shooting trap and skeet, mountain biking, playing bridge, learning to knit, studying nature photography, playing Frisbee with the ubiquitous canine conference guests, ice-skating on the outdoor rink, playing tennis on perfect clay courts, lounging at the pool, or golfing on immaculate greens, where they rode in carts stuffed full of Allen & Co. sunscreen, snacks, and bug spray.[6] All the entertainment flowed quietly, seamlessly, whatever was needed appearing unasked, supplied by a seemingly inexhaustible staff of almost-invisible yet ever-present Allenites in SV99 polo shirts.

It was the babysitters, however, a hundred-some good-looking, mostly blond, deeply tanned teenagers in these same polo shirts and matching Allen & Co. backpacks, who were Herbert Allen's secret weapon. As the parents and grandparents played, the sitters saw to it that each Joshua and Brittany was accompanied by his or her own playmate for whatever activity they chose—a tennis clinic, soccer, bicycling, kickball, a wagon ride, a horse show, ice-skating, relay races, rafting, fishing, an art project, or pizza and ice cream. Each babysitter was personally selected to ensure that every child always had such a wonderful time that they would beg to come back year after year—while at the same time delighting their parents with occasional glimpses of the very, very attractive young person who was allowing them to spend days of guilt-free time with other adults.

Buffett had always been one of the most appreciative of Allen's beneficiaries. He loved Sun Valley as a family vacation, for left to his own devices at a mountain resort with his grandchildren, he would have been at a complete loss for what to do. He had no interest in outdoor activities other than golf. He never went skeet shooting or mountain biking, thought of water as "a prison of sorts," and would rather go around handcuffed than ride on a raft. Instead, he slipped comfortably into the center of the elephant herd. He played a little golf and bridge, including a standing golf game with Jack Valenti, president of the Motion Picture Association of America, for a dollar bet, and a bridge game with Meredith Brokaw, and otherwise spent his time socializing with people like Playboy CEO Christie Hefner and computer hardware CEO Michael Dell.

Often, however, he disappeared for long periods into his condo overlooking the golf course, where he read and watched business news in the living room seated next to an enormous stone fireplace.[7] He barely noticed the view of pine-covered Baldy, the mountain outside his window, or the bank of blossoms like a Persian palace rug: pastel lupines and sapphire delphiniums towering over poppies and Indian paintbrush, crisp blue salvia and veronica nestled among the stonecrop and hens-and-chicks. "The scenery is there, I guess," he said. He came for the warm atmosphere Herbert Allen had created.[8] He liked being with his closest friends: Kay Graham and her son Don; Bill and Melinda Gates; Mickie and Don Keough; Barry Diller and Diane von Furstenberg; Andy Grove and his wife, Eva.

But above all, for Buffett, Sun Valley was about reuniting with his whole family during one of the rare times most of the family spent together. "He likes us all being in the same house," says his daughter, Susie Buffett Jr. She lived in Omaha; her younger brother, Howie, and his wife, Devon—missing this year—lived in Decatur, Illinois; while their younger sibling, Peter, and his wife, Jennifer, lived in Milwaukee.

Buffett's wife of forty-seven years, Susan, who lived apart from him, had flown in to meet them from her home in San Francisco. And Astrid Menks, his companion for more than twenty years, remained at their home in Omaha.

On Friday night, Warren donned a Hawaiian shirt and escorted his wife to the traditional Pool Party on the tennis courts next to their condo. Most of the guests knew and liked Susie. Always the star of the Pool Party, she sang old-fashioned standards by the light of tiki torches in front of the illuminated Olympic pool.

This year, as the cocktails and camaraderie flowed, the babble of a barely comprehensible new language—B2B, B2C, banner ads, bandwidth, broadband—competed with the sounds of Al Oehrle's band. All week long a vague sense of unease had drifted through the lunches and dinners and cocktails like a silent fog amid the handshakes, kisses, and hugs. A new group of recently minted technology executives, filled with an unusual swagger, introduced themselves to people who had never heard of them a year before.[9] Some displayed a hubris that was at odds with Sun Valley's usual atmosphere, where a determined informality reigned and Herbert Allen enforced a sort of unwritten rule against pomposity, on penalty of banishment.

The cloud of arrogance hung heaviest over the presentations that were the conference's centerpiece. Heads of companies, high government officials, and other people of note gave talks unlike those they delivered anywhere else, because hardly a word of what was said was ever whispered beyond the flower boxes hanging by the doors of the Sun Valley Inn. Reporters were banned, and the celebrity journalists and the media barons who owned the television networks and newspapers sat in the audience but honored a code of silence. Thus freed to perform only for their peers, the speakers said important and often true things that could never be articulated in front of the press because they were too blunt, too nuanced, too alarming, too easily satirized, or too likely to be misinterpreted. The workaday journalists lurked outside, hoping for crumbs that were rarely thrown.

This year the new moguls of the Internet had been strutting, showing off their soaring expectations, trumpeting their latest mergers and looking to raise cash from the money managers sitting in the audience. The money people, who stewarded other people's pensions and savings, together commanded so much wealth that it could hardly be comprehended: more than a trillion dollars.[10] With a trillion dollars in 1999, you could pay the income tax of every single individual in the United States. You could give a brand-new Bentley automobile to every household in more than nine states.[11] You could buy every single piece of real estate in Chicago, New York City, and Los Angeles—combined. Some of the companies making presentations needed that money, and they wanted this audience to give it to them.

Early in the week, Tom Brokaw's panel, called "The Internet and Our Lives," had drum-majored a procession of presentations about how the Internet would reshape the communications business. Priceline's Jay Walker took the audience through a dizzying vision of the Internet that compared the information superhighway to the advent of the railroad in 1869. One after another, executives laid out the glittering prospects for their companies, filling the room with the intoxicating vapor of a future unlimited by storage space and

geography, so slick and visionary that while some were convinced that a whole new world was unfolding, others were reminded of snake-oil salesmen. The folks who ran technology companies saw themselves as Promethean geniuses bringing fire to lesser mortals. Other businesses that grubbed in the ashes to make the dull necessities of life—auto parts, lawn furniture—were now of interest mostly for how much technology they could buy. Some Internet stocks traded at infinite multiples of their nonexistent earnings, while "real companies" that made real things had declined in value. As technology stocks overtook the "old economy," the Dow Jones Industrial Average[*1] had burst through the once-distant 10,000-point barrier only four months before, doubling in less than three and a half years.

Many of the recently enriched congregated between speeches at a cordoned-off dining terrace by the Duck Pond, where a pair of captive swans paddled around a pool. There, any guest—but not a reporter—could edge through the masses of people in khaki pants and cashmere cable sweaters to ask a question of Bill Gates or Andy Grove. Meanwhile, the journalists chased after the Internet moguls as they moved between the Inn and their condos, amplifying the atmosphere of inflated self-importance that permeated Sun Valley this year.

Some of the new Internet czars spent Friday afternoon lobbying Herbert Allen to get them into celebrity photographer Annie Leibovitz's Saturday afternoon shoot of the Media All-Star Team for *Vanity Fair*. They felt they had been invited to Sun Valley because they were the people of the moment, and they had trouble believing that Leibovitz had made her own choices about who to photograph. Why, for example, would she include Buffett? His role in media had come mostly secondhand—through board memberships, a large network of personal influence, and a history of media investments large and small. Besides, he was old media. They found it hard to believe that his face in a photograph still sold magazines.

These would-be all-stars felt slighted because they knew perfectly well that the balance in media had shifted toward the Internet. That was so even though Herbert Allen himself thought the "new paradigm" for valuing technology and media stocks—based on clicks and eyeballs and projections of far-off growth rather than a company's ability to earn cold hard cash—was bunk. "New paradigm," he sniffed. "It's like new sex. There just isn't any such thing."[12]

* * *

The next morning, Buffett, emblem of the old paradigm, rose early, for he would be the closing speaker of the year. Invariably, he turned down requests to speak at conferences sponsored by other companies, but when Herbert Allen asked him to speak at Sun Valley, he always said yes.[13] The Saturday morning closing talk was the keynote event of the conference, so instead of heading straight to the golf course or grabbing a fishing rod, almost everyone went to the breakfast buffet at the Sun Valley Inn, then settled into a seat. Today Buffett would be talking about the stock market.

In private, he had been critical of the gunslinging, promoter-driven market that had sent technology stocks galloping toward delirious heights all year. The stock of his company, Berkshire Hathaway, languished in their dust, and his rigid rule of not buying technology stocks seemed outmoded. But the criticism had no influence on how he invested, and to date, the only statement he had made in public was that he never made market predictions. So his decision to get up at the podium in Sun Valley and do just that was unprecedented. Perhaps it was the times. Buffett had a firm conviction and an overwhelming urge to preach.[14]

He had spent weeks preparing for this speech. He understood that the market was not just people trading stocks as though they were chips in a casino. The chips represented businesses. Buffett thought about the total value of the chips. What were they worth? Next he reviewed history, pulling from an exhaustive mental file. This was not the first time that world-changing new technologies had come along and shaken up the stock market. Business history was replete with new technologies—railroads, telegraph, telephone, automobiles, airplanes, television: all revolutionary ways to connect things faster—but how many had made investors rich? He was about to explain.

After the breakfast buffet, Clarke Keough walked to the podium. Buffett had known the Keough family for many years; they had been neighbors back in Omaha. It was through Clarke's father, Don, that Buffett had made the connections that led him to Sun Valley. Don Keough, now chairman of Allen & Co. and former president of Coca-Cola, had met Herbert Allen when he bought Columbia Pictures from Allen & Co. for Coca-Cola in 1982. Keough and his boss, Coca-Cola's CEO, Roberto Goizueta, had been so impressed by Herbert Allen's unsalesmanlike approach to selling that they had convinced him to join their board.

Keough, a Sioux City cattleman's son and former altar boy, had now technically retired from Coca-Cola but he still lived and breathed the Real Thing, so powerful he was sometimes called the company's shadow chief executive.[15]

When the Keoughs were his neighbors in Omaha in the 1950s, Warren had asked Don how he was going to pay for his kids' college and suggested that he invest $10,000 in Buffett's partnership. But Don was putting six kids through parochial school on $200 a week as a Butter-Nut coffee salesman. "We didn't have the money," his son Clarke now told the audience. "This is part of my family's past that we will never forget."

Buffett joined Clarke at the podium, wearing his favorite Nebraska red sweater over a plaid shirt. He finished the story.[16]

"The Keoughs were wonderful neighbors," he said. *"It's true that occasionally Don would mention that, unlike me, he had a job, but the relationship was terrific. One time my wife, Susie, went over and did the proverbial Midwestern bit of asking to borrow a cup of sugar, and Don's wife, Mickie, gave her a whole sack. When I heard about that, I decided to go over to the Keoughs' that night myself. I said to Don, 'Why don't you give me twenty-five thousand dollars for the partnership to invest?' And the Keough family stiffened a little bit at that point, and I was rejected.*

"I came back sometime later and asked for the ten thousand dollars Clarke referred to and got a similar result. But I wasn't proud. So I returned at a later time and asked for five thousand dollars. And at that point, I got rejected again.

"So one night, in the summer of 1962, I started heading over to the Keough house. I don't know whether I would have dropped it to twenty-five hundred dollars or not, but by the time I got to the Keough household, the whole place was dark, silent. There wasn't a thing to see. But I knew what was going on. I knew that Don and Mickie were hiding upstairs, so I didn't leave.

"I rang that doorbell. I knocked. Nothing happened. But Don and Mickie were upstairs, and it was pitch-black.

"Too dark to read, and too early to go to sleep. And I remember that day as if it were yesterday. That was June twenty-first, 1962.

"Clarke, when were you born?"

"March twenty-first, 1963."

"It's little things like that that history turns on. So you should be glad they didn't give me the ten thousand dollars."

Having charmed the audience with this little piece of give and take, Buffett turned to the matter at hand. *"Now, I'm going to attempt to multitask today. Herb told me to include a few slides. 'Show you're with it,' he said. When Herb says something, it's practically an order in the Buffett household."* Speeding past exactly what comprised "the Buffett household"—for Buffett thought of his household as being like any other family's—he launched into a joke about Allen. The secretary to the President of the U.S. rushed into the Oval Office, apologizing for accidentally scheduling two meetings at once. The President had to choose between seeing the Pope and seeing Herbert Allen. Buffett paused for effect. *"'Send in the Pope,' said the President. 'At least I only have to kiss his ring.'*

"To all you fellow ring-kissers, I would like to talk today about the stock market," he said. *"I will be talking about pricing stocks, but I will not be talking about predicting their course of action next month or next year. Valuing is not the same as predicting.*

"In the short run, the market is a voting machine. In the long run, it's a weighing machine.

"Weight counts eventually. But votes count in the short term. And it's a very undemocratic way of voting. Unfortunately, they have no literacy tests in terms of voting qualifications, as you've all learned."

Buffett clicked a button, which illuminated a PowerPoint slide on a huge screen to his right.[17] Bill Gates, sitting in the audience, caught his breath for a second, until the notoriously fumble-fingered Buffett managed to get the first slide up.[18]

DOW JONES
INDUSTRIAL AVERAGE

December 31, 1964
874.12

December 31, 1981
875.00

He walked over to the screen and started explaining.

"During these seventeen years, the size of the economy grew fivefold. The sales of the Fortune five hundred companies grew more than fivefold.[*2] *Yet, during these seventeen years, the stock market went exactly nowhere."*

He backed up a step or two. *"What you're doing when you invest is deferring consumption and laying money out now to get more money back at a later time. And there are really only two questions. One is how much you're going to get back, and the other is when.*

"Now, Aesop was not much of a finance major, because he said something like, 'A bird in the hand is worth two in the bush.' But he doesn't say when." Interest rates—the cost of borrowing—Buffett explained, are the price of "when." They are to finance as gravity is to physics. As interest rates vary, the value of all financial assets—houses, stocks, bonds—changes, as if the price of birds had fluctuated. *"And that's why sometimes a bird in the hand is better than two birds in the bush and sometimes two in the bush are better than one in the hand."*

In his flat, breathy twang, the words coming so fast that they sometimes ran over one another, Buffett related Aesop to the great bull market of the 1990s, which he described as baloney. Profits had grown much less than in that previous period, but birds in the bush were expensive because interest rates were low. Fewer people wanted cash—the bird in the hand—at such low rates. So investors were paying unheard-of prices for those birds in the bush. Casually, Buffett referred to this as the "greed factor."

The audience, full of technology gurus who were changing the world while getting rich off the great bull market, sat silent. They were perched atop portfolios that were jam-packed with stocks trading at extravagant valuations. They felt terrific about that. It was a new paradigm, this dawning of the Internet age. Their attitude was that Buffett had no right to call them greedy. Warren—who'd hoarded his money for years and given very little away, who was so cheap his license plate said "Thrifty," who spent most of his time thinking about how to make money, who had blown the technology boom and missed the boat—was spitting in their champagne.

Buffett continued. There were only three ways the stock market could keep rising at ten percent or more a year. One was if interest rates fell and remained below historic levels. The second was if the share of the economy that went to investors, as opposed to employees and government and other things, rose above its already historically high level.[19] Or, he said, the economy could start growing faster than normal.[20] He called it "wishful thinking" to use optimistic assumptions like these.

Some people, he said, were not thinking that the whole market would flourish. They just believed they could pick the winners from the rest. Swinging his arms like an orchestra conductor, he succeeded in putting up another slide while explaining that, although innovation might lift the world out of poverty, people who invest in innovation historically have not been glad afterward.

"This is half of a page which comes from a list seventy pages long of all the auto companies in the United States." He waved the complete list in the air. *"There were two thousand auto companies: the most important invention, probably, of the first half of the twentieth century. It had an enormous impact on people's lives. If you had seen at the time of the first cars how this country would develop in connection with autos, you would have said, 'This is the place I must be.' But of the two thousand companies, as of a few years ago, only three car companies survived.*[21] *And, at one time or another, all three were selling for less than book value, which is the amount of money that had been put into the companies and left there. So autos had an enormous impact on America, but in the opposite direction on investors."*

He put down the list to shove his hand in his pocket. *"Now, sometimes it's much easier to figure out the losers. There was, I think, one obvious decision back then. And of course, the thing you should have been doing was shorting horses."*[*3] *Click.* A slide about horses popped up.

U.S. HORSE POPULATION

1900—17 million
1998—5 million

"Frankly, I'm kind of disappointed that the Buffett family was not shorting horses throughout this entire period. There are always losers."

Members of the audience chuckled, albeit faintly. Their companies might be losing money, but in their hearts beat a conviction that they were winners, supernovas blazing at the cusp of a momentous shift in the heavens. Undoubtedly their names would grace the pages of history books someday.

Click. Another slide appeared.

"Now the other great invention of the first half of the century was the airplane. In this period from 1919 to 1939, there were about two hundred companies. Imagine if you could have seen the future of the airline industry back there at Kitty Hawk. You would have seen a world undreamed of. But assume you had the insight, and you saw all of these people wishing to fly and to visit their relatives or run away from their relatives or whatever you do in an airplane, and you decided this was the place to be.

"As of a couple of years ago, there had been zero money made from the aggregate of all stock investments in the airline industry in history.

"So I submit to you: I really like to think that if I had been down there at Kitty Hawk, I would have been farsighted enough and public-spirited enough to have shot Orville down. I owed it to future capitalists."[22]

Another light chuckle. Some were getting tired of these musty old examples. But out of respect, they let Buffett get on with it.

Now he was talking about their businesses. *"It's wonderful to promote new industries, because they are very promotable. It's very hard to promote investment in a mundane product. It's much easier to promote an esoteric product, even particularly one with losses, because there's no quantitative guideline."* This was goring the audience directly, where it hurt. *"But people will keep coming back to invest, you know. It reminds me a little of that story of the oil prospector who died and went to heaven. And St. Peter said, 'Well, I checked you out, and you meet all of the qualifications. But there's one problem.' He said, 'We have some tough zoning laws up here, and we keep all of the oil prospectors over in that pen. And as you can see, it is absolutely chock-full. There is no room for you.'*

"And the prospector said, 'Do you mind if I just say four words?'

"St. Peter said, 'No harm in that.'

"So the prospector cupped his hands and yells out, 'Oil discovered in hell!'

"And of course, the lock comes off the cage and all of the oil prospectors start heading right straight down.

"St. Peter said, 'That's a pretty slick trick. So,' he says, 'go on in, make yourself at home. All the room in the world.'

"The prospector paused for a minute, then said, 'No, I think I'll go along with the rest of the boys. There might be some truth to that rumor after all.' [23]

"Well, that's the way people feel with stocks. It's very easy to believe that there's some truth to that rumor after all."

This got a mild laugh for a half second, which choked off as soon as the audience caught on to Buffett's point, which was that, like the prospectors, they might be mindless enough to follow rumors and drill for oil in hell.

He closed by returning to the proverbial bird in the bush. There was no new paradigm, he said. Ultimately, the value of the stock market could only reflect the output of the economy.

He put up a slide to illustrate how, for several years, the market's valuation had outstripped the economy's growth by an enormous degree. This meant, Buffett said, that the next seventeen years might not look much better than that long stretch from 1964 to 1981 when the Dow had gone exactly nowhere—that is, unless the market plummeted. *"If I had to pick the most probable return over that period,"* he said, *"it would probably be six percent."*[24] Yet a recent PaineWebber-Gallup poll had shown that investors expected stocks to return thirteen to twenty-two percent.[25]

He walked over to the screen. Waggling his bushy eyebrows, he gestured at the cartoon of a naked man and woman, taken from a legendary book on the stock market, *Where Are the Customers' Yachts?*[26] *"The man said to the woman, 'There are certain things that cannot be adequately explained to a virgin either by words or pictures.'"* The audience took his point, which was that people who bought Internet stocks were about to get screwed. They sat in stony silence. Nobody laughed. Nobody chuckled or snickered or guffawed.

Seeming not to notice, Buffett moved back to the podium and told the audience about the goody bag he had brought for them from Berkshire Hathaway. *"I just bought a company that sells fractional jets, NetJets,"* he said. *"I thought about giving each of you a quarter share of a Gulfstream IV. But when I went to the airport, I realized that'd be a step down for most of you."* At that, they laughed. So, he continued, he was giving each of them a jeweler's loupe instead, which he said they should use to look at one another's wives' rings—the third wives' especially.

That hit its mark. The audience laughed and applauded. Then they stopped. A resentful undercurrent was washing through the room. Sermonizing on the stock market's excesses at Sun Valley in 1999 was like

preaching chastity in a house of ill repute. The speech might rivet the audience to its chairs, but that didn't mean that they would go forth and abstain.

Yet some thought they were hearing something important. "This is great; it's the basic tutorial on the stock market, all in one lesson," thought Gates.[27] The money managers, many of whom were hunting for cheaper stocks, found it comforting and even cathartic.

Buffett waved a book in the air. *"This book was the intellectual underpinning of the 1929 stock-market mania. Edgar Lawrence Smith's Common Stocks as Long Term Investments proved that stocks always yielded more than bonds. Smith identified five reasons, but the most novel of these was the fact that companies retained some of their earnings, which they could reinvest at the same rate of return. That was the plowback—a novel idea in 1924! But as my mentor, Ben Graham, always used to say, 'You can get in way more trouble with a good idea than a bad idea,' because you forget that the good idea has limits. Lord Keynes, in his preface to this book, said, 'There is a danger of expecting the results of the future to be predicted from the past.'"*[28]

He had worked his way back around to the same subject: that one couldn't extrapolate from the past few years of accelerating stock prices. *"Now, is there anyone I haven't insulted?"*[29] He paused. The question was rhetorical; nobody raised a hand.

"Thank you," he said, and ended.

"Praise by name, criticize by category" was Buffett's rule. The speech was meant to be provocative, not off-putting—for he cared a great deal what they thought of him. He had named no culprits, and he assumed they would get over his jokes. His argument was so powerful, almost unassailable, that he thought even those who didn't like its message must acknowledge its force. And whatever unease the audience felt was not expressed aloud. He answered questions until the session ended. People began to stand, awarding him an ovation. No matter how they saw it—a masterful exposition on how to think about investing or the last roar of an old lion—the speech was by any standard a tour de force.

Buffett had stayed on top for forty-four years in a business where five years of good performance was a meaningful accomplishment. Still, as the record lengthened, the question always loomed: When would he falter? Would he declare an end to his reign, or would some seismic shift dethrone him? Now, it seemed to some, the time had come. It may have taken an invention as significant as the personal computer, coupled with a technology as pervasive as the Internet, to topple him, but he'd apparently overlooked information that was freely available and rejected the reality of the approaching millennium. As they muttered a polite "wonderful speech, Warren," the young lions prowled, restive. And so, even in the ladies' room at the break, sarcastic remarks were heard from the Silicon Valley wives.[30]

It was not just that Buffett was wrong, as some felt, but that even if he were eventually proved right—as others suspected he would be—his dour prediction of the investing future contrasted so sharply with Buffett's own legendary past. For in his early glory days, stocks were cheap, and Buffett had scooped them up in handfuls, almost alone in noticing the golden apples lying untouched on the path. As the years passed, barriers grew up that made it harder to invest, to get an edge, to figure out what others didn't know. So who was Buffett to preach at them, now that it was their turn? Who was he to say that they shouldn't make money while they could off this wonderful market?

Throughout the rest of the lazy afternoon, Herbert Allen's guests played one last game of tennis or golf or headed to the Duck Pond Lawn for a leisurely chat. Buffett spent his afternoon with old friends, who congratulated him on his triumph of a speech. He believed he had done a convincing job of swaying the audience. He had not given a speech full of such commanding evidence simply to go on the record.

Buffett, who wanted to be liked, had registered the standing ovation, not the mutterings. But the less flattering version was how many were not convinced. They believed that Buffett was rationalizing having missed the technology boom, and they were startled to see him make such specific predictions, prophecies

that surely would turn out to be wrong. Beyond his earshot, the rumbling went on: "Good ol' Warren. He missed the boat. How could he miss the tech boat? He's a friend of *Bill Gates.*"[31]

A few miles away at the River Run Lodge later that evening, with the guests at the closing dinner again arranged according to some invisible plan, Herbert Allen finally spoke, thanking various people and reflecting on the week. Then Susie Buffett took the stage beside the windows that overlooked the pebbly Big Wood River and once again sang the old standards. Later the guests returned to the Sun Valley Lodge terrace, where Olympic skaters axeled and arabesqued in the Saturday night ice show.

By the time fireworks exploded across the sky at evening's end, Sun Valley '99 had been declared another glorious five-day extravaganza. Yet what most people would remember was not the rafting or the skaters; it was Buffett's talk about the stock market—the first forecast he had made in exactly thirty years.

3

Creatures of Habit

Pasadena • July 1999

Buffett's partner, Charles T. Munger, was nowhere to be seen at Sun Valley. The Allen & Co. organizers had never invited him. Which was fine with Munger, for Sun Valley was the kind of event he would almost pay not to attend. Its rituals required pleasing too many people.[1] Buffett was the one who enjoyed pleasing people. Even as he took his jabs at the audience, he made sure to remain personally well liked. Whereas Munger wanted only respect, and didn't care who thought he was a son of a bitch.

Yet the two, in many people's minds, were almost interchangeable. Buffett himself referred to them as "Siamese twins, practically." They walked with the same lurching, awkward gait. They wore the same sort of gray suits draped stiffly over their frames, the inflexible bodies of men who have spent decades reading books and newspapers rather than playing sports or working outdoors. They arranged their graying hair in the same comb-over, they wore similar Clark Kentish glasses, and the same intensity flickered through their eyes.

They thought alike and had the same fascination with business as a puzzle worth spending a lifetime to solve. Both regarded rationality and honesty as the highest virtues. Quickened pulses and self-delusion, in their view, were the major causes of mistakes. They liked to ponder the reasons for failure as a way of deducing the rules of success. "I had long looked for insight by inversion, in the intense manner counseled by the great algebraist Carl Jacobi," Munger said. "'Invert, always invert.'" He illustrated this with the story of a wise peasant who said, "Tell me where I'm going to die so I won't go there."[2] But while Munger meant this figuratively, Buffett took it more literally. He lacked Munger's subtle sense of fatalism, particularly when it came to the subject of his own mortality.

Both men, however, were infected by the urge to preach. Munger described himself as "didactic." He labored over occasional speeches on the art of successful living, which struck people as so insightful that they were hoarded and passed from hand to hand until, finally, the Internet made them accessible to all. He grew so enthused delivering these speeches that, on a few occasions, he became "self-intoxicated," as Buffett put it, and had to be dragged from the stage. In private, Munger tended to lecture either himself or his audience, making conversations with him like sitting in the back of a runaway stagecoach.

But while he considered himself an amateur scientist and architect and did not hesitate to expound on Einstein, Darwin, rational habits of thinking, and the ideal distance between houses in a Santa Barbara subdivision, Munger was nonetheless wary of venturing very far from what he had spent some time to learn.

He dreaded falling prey to what a Harvard Law School classmate of his had called "the Shoe Button Complex."

"His father commuted daily with the same group of men," Munger said. "One of them had managed to corner the market in shoe buttons—a really small market, but he had it all. He pontificated on every subject, all subjects imaginable. Cornering the market on shoe buttons made him an expert on everything. Warren and I have always sensed it would be a big mistake to behave that way."[3]

Buffett was in no danger of suffering from the Shoe Button Complex. He feared appearing obnoxious or, worse, sanctimonious. He believed in what he called the Circle of Competence, drew a line around himself, and stayed within the three subjects on which he would be recognized as absolutely expert: money, business, and his own life.

Yet, like Munger, he had his own form of self-intoxication. While Munger chose his speeches selectively but had trouble winding them up, Buffett could usually conclude a lecture, but found it hard not to start one.

He gave speeches; he wrote articles; he wrote editorials; he gathered people at parties and gave little lessons; he testified in lawsuits; he appeared in television documentaries and did television interviews and took journalists along with him on trips; he went around to colleges and taught classes; he got college students to come and visit him; he gave lessons at the openings of furniture stores, the inauguration of insurance telemarketing centers, and dinners for would-be customers of NetJets; he gave locker-room talks to football players; he spoke at lunches with Congressmen; he educated newspaper folk in editorial board meetings; he gave lessons to his own board of directors; and, above all, he put on the teacher's robes in his letters to and meetings with his shareholders. Berkshire Hathaway was his "Sistine Chapel"—not just a work of art, but an illustrated text of his beliefs, which was why Munger referred to it as Buffett's "didactic enterprise."

The two men had been each other's best audience ever since they first met through mutual friends over lunch in 1959. After they talked their hosts into exhaustion, they wound up alone at the table, jabbering to each other. Since then, they had carried on an uninterrupted conversation for decades. Eventually, they could read each other's minds, stopped talking, and carried on by telepathy. But by then their other audiences had expanded to include their friends, business partners, shareholders—indeed, the whole world. People reeled out of Buffett's office or away from Munger's speeches, figuratively smacking their foreheads and saying, "My God!" at some insight one of them had about a seemingly intractable problem, which now, in hindsight, seemed obvious. No matter how much either talked, demand for their words only increased. Like most things in their lives, they found this role easy and comfortable, engraved in their beings by long habit.

But, accused of being a creature of habit, Buffett responded with a wounded look. "I'm not a creature of habit," he said. "Now, Charlie—*Charlie* is a creature of habit."

* * *

Munger rose in the morning and set his quarter-inch-thick, old-fashioned cataract glasses on the bridge of his nose. He climbed into his car at precisely the same time every day, carefully placed his father's briefcase —which he now used—on the seat next to him, and drove from Pasadena to downtown Los Angeles.[4] He changed lanes on his left side by counting the cars in his rearview mirror, then watching them pass in the front to sense when there would be a gap.[5] (For years he drove with a can of gasoline in his trunk in case he forgot to stop for gas, but was finally persuaded to give up this particular habit.) Once downtown, he often met someone for breakfast at the sandy-brick art deco California Club, one of the city's venerable institutions, where he strode automatically to the first table in the dining room after grabbing a clutch of newspapers from the console table by the third-floor elevator. He tore through the papers like gift wrap on Christmas morning, until they lay around him in a heap.

"Good morning, Mr. Munger." The members of the L.A. business establishment genuflected as they passed by on their way to lesser tables, pleased if he recognized them and chatted for a moment or two.

Munger regarded them through his right eye. His left had been destroyed in a failed cataract operation.[6] Now, while he spoke, his left eyelid hung at half-mast as his head swiveled back and forth across the room, taking in the scene. The rotating half gaze gave him an aspect of eternal vigilance and permanent disdain.

After finishing his blueberries, Munger repaired to the modest, cluttered office he rented from Munger, Tolles & Olson, the law firm he had founded in 1962 and retired from just three years later. Tucked away on an upper floor of the Wells Fargo Center, his domain was watched over by his longtime secretary, the Teutonic Dorothe Obert. There, surrounded by science and history books, biographies of Benjamin Franklin, an enormous portrait of aphorist and lexicographer Samuel Johnson, plans and models of his latest real estate deal, and a hydrocephalic bust of Franklin next to the windows, he felt at home. Munger admired Franklin for espousing Protestant bourgeois values while living as he damn well pleased. He frequently cited Franklin, and spent his days studying his works and those of other "eminent dead," as he put it, like Cicero and Maimonides. He also administered Wesco Financial, a subsidiary of Berkshire; the Daily Journal Corporation, a legal publishing company that Wesco owned; and worked on a real estate transaction here and there. Would-be chatterers—except for family, close friends, or business associates—met with obscure ironic witticisms and discouragement from Dorothe.

Munger spent much of his time working on four causes. When he chose, he could pitch in with an almost stunning generosity. However, lacking a soft spot for the people of what he called "Dregsville," his charity took the form of a Darwinian quest to boost the brightest. Good Samaritan Hospital, the Harvard-Westlake School, the Huntington Library, and the Stanford Law School were the beneficiaries. These organizations knew that Munger's money and effort would be accompanied by much lecturing and insistence that everyone do things Charlie's way. He would gladly pay for dormitories at Stanford Law School, as long as Stanford made each room exactly so many feet wide, with a window exactly here and the bedroom so many feet from the kitchen, and provided that the university locate the parking garage where he insisted. He embodied old-fashioned noblesse oblige, with all sorts of irritating strings attached to the money for the recipients' own good, because he knew best.

Even with all this overseeing of others' activities, Munger often left for the day in time to play a little golf with his cronies at the Los Angeles Country Club. Then he joined his wife, Nancy, for dinner, sometimes at the Pasadena house he'd designed himself or, more likely, with a longtime group of close-knit friends, once again either at the California Club or the L.A. Country Club. He concluded his day by burying his nose in a book. He vacationed regularly with his eight children and stepchildren and assorted grandchildren, usually at his cabin on Minnesota's Star Island, where, like his father, he was an avid fisherman. He hosted dozens of people on his enormous catamaran, the *Channel Cat* (described as a "floating restaurant" by one friend, and used mainly to entertain). In short, despite his idiosyncrasies, Munger was a straightforward family man who liked his friends, his clubs, and his charities.

* * *

Buffett liked his friends and his clubs, but had little to do with charities. His life was even simpler than Munger's, despite a personality that was far more complex. He spent the vast majority of his time in Omaha, but his schedule revolved around a series of board meetings and trips to visit friends, orchestrated with an unhurried regularity, like the phases of the moon. On the days he was in town, he drove 1.5 miles from the house he'd inhabited for four decades to the office at Kiewit Plaza that he'd occupied for almost as long, where he sat down behind his father's desk by eight-thirty a.m. There, he turned on the television to CNBC with the sound muted before picking up his pile of newspapers, keeping half an eye on the screen while plowing through a pile of publications on his desk: *American Banker, Editor & Publisher, Broadcasting, Beverage Digest, Furniture Today, A.M. Best's Property-Casualty Review,* the *New Yorker, Columbia Journalism Review,* the *New York Observer,* and newsletters from writers he admired on the stock and bond market.

After that he digested the monthly, weekly, and daily reports faxed, mailed, and e-mailed by the businesses

that Berkshire owned, a list that grew longer year by year, telling him how many auto policies GEICO had sold last week and how many claims it had paid; how many pounds of See's Candies had sold yesterday; how many prison-guard uniforms had been ordered from Fechheimers; how many jet time-shares NetJets was selling in Europe and the United States; and all the rest—awnings, battery chargers, kilowatt hours, air compressors, engagement rings, leased trucks, encyclopedias, pilot training, home furnishings, cardiopulmonary equipment, pig stalls, boat loans, real estate listings, ice cream sundaes, winches and windlasses, cubic feet of gas, sump pumps, vacuum cleaners, newspaper advertising, egg counters, knives, furniture rentals, nurses' shoes, electromechanical components. All the numbers on their costs and sales poured into his office, and he knew many of them from memory.[7]

In his spare time, he pored over reports from the hundreds of companies he hadn't bought yet. Partly out of interest, and partly just in case.

If some dignitary made the pilgrimage to Omaha to meet him, he got in his steel-blue Lincoln Town Car and drove the 1.5 miles through downtown and out to the airport to pick him or her up personally. People were startled and charmed by the unaffected gesture, although he soon scraped their nerves raw by barely noticing stop signs, traffic lights, or other cars, weaving around the road while talking animatedly. He rationalized his distractedness by saying that he drove so slowly that, if he had an accident, the damage would be light.[8]

He always gave a tour of his office, showing off his totems, the memorabilia that told the story of his business life. Then he sat, leaning forward in a chair, hands clasped and eyebrows raised sympathetically as he listened to the visitor's questions and requests. To each of them Buffett offered off-the-cuff wit, quick decisions on business proposals, and warm advice. As they left, he might surprise a famous politician or the CEO of some huge company by dropping in for lunch at McDonald's before ferrying him back to the airport.

In between the reading, the research, and the occasional meetings, the phone rang all day long. First-time callers punching in Buffett's number were shocked to hear a hearty "Hello!" and often stumbled in confusion when they realized that he answered his own phone. His secretary, the amiable Debbie Bosanek, trotted in and out of his office with messages from the overflow calls. On his credenza, another phone rang from time to time. He took these calls instantly, for they were from his trader. "Yello…mmm hmm…yep…how much…mmm hmm…go ahead," he would say, and hang up. Then he turned back to the other calls, or to his reading or CNBC, before leaving promptly at five-thirty p.m. for home.

The woman waiting for him there was not his wife. He was perfectly open about Astrid Menks, with whom he had lived in an unusual triangular arrangement since 1978. Susie Buffett approved of, and in fact had arranged the relationship; yet he and Susie both made a great point of saying how very married they were, their routine as a couple as scheduled and orchestrated as everything else in Buffett's life. All the while, he offered no more explanation in public than "If you knew everybody well, you'd understand it quite well."[9] While this was true in its way, it did not help the curious, since almost nobody knew both Susie and Astrid well, or, for that matter, Buffett himself. He kept these relationships separate, as he kept many of his relationships separate. By all appearances, however, Astrid and Susie were friends.

Most nights, Buffett ate dinner—something like a hamburger or pork chop—at home with Astrid. After a couple of hours he turned his attention to his nightly bridge game on the Internet, to which he devoted about twelve hours a week. While he tapped away, glued to the screen with the background noise of the TV, Astrid mostly left him to his game, except when occasionally he said, "Astrid, get me a Coke!" Afterward, he usually talked to Sharon Osberg, his bridge partner and a close confidante, for a while on the phone as Astrid puttered around the house until ten, when Buffett had his nightly conference call with Ajit Jain, who ran his reinsurance business. Meanwhile, Astrid went to the market and picked up the early edition of the next day's newspaper. While he read it, she went to bed. And that, it seemed, was the simple, ordinary life of a megabillionaire.

Warren, What's Wrong?

Omaha and Atlanta • August–December 1999

Nearly all of Buffett's $30 billion plus—ninety-nine percent—was invested in the stock of Berkshire Hathaway. He had spoken at Sun Valley about how the market's weighing machine was more important than its voting machine. But it was the voting machine's opinion of his stock price that set the altitude from which he preached. People paid attention to him because he was rich. So when he predicted that the market could disappoint investors for seventeen years,[1] he was standing on the edge of a cliff, and he knew it. If he was wrong, not only would he be the laughingstock of Sun Valley; in the record books of the world's wealthiest men, his personal rank might drop. And Buffett paid close attention to that rank.

Through the late 1990s, BRK (Berkshire Hathaway's stock symbol) had boosted his profile by outpacing the market, until it peaked at $80,900 per share in June 1998. That a single share of Berkshire stock cost enough to buy a small condo was unique among American businesses. To Buffett, the stock price represented an uncomplicated measure of his success. It had grown in an ascending line since the day he first bought BRK for $7.50 a share. Even though the market had rocked through the late 1990s, until 1999 an investor who bought BRK and held on to it would have been better off.

Annual Stock Price Appreciation						
	1993	1994	1995	1996	1997	1998
BRK	39%	25%	57%	6%	35%	52%
S&P[2]	10%	1%	38%	23%	33%	29%

But now, Buffett found himself standing on the sinking platform of an unloved stock, watching the "T&T"(tech and telecommunications) stocks ascend. By August 1999, BRK had slumped to $65,000. How much should someone pay for a large, established business that returned $400 million to them in profits every year? How much for a small, new business that was losing money?

• Toys "R" Us was earning $400 million a year and had sales of $11 billion.

• eToys was losing $123 million a year and had sales of $100 million.

The market's voting machine said that eToys was worth $4.9 billion, and Toys "R" Us was worth about a billion less than that. The presumption was that eToys was going to crush Toys "R" Us through the Internet.[3]

The one cloud of doubt that hung over the market concerned the calendar. Experts were predicting that disaster might strike at midnight, December 31, 1999, because the world's computers were not programmed to handle dates beginning with a "2." Fearing panic, the Federal Reserve began to increase the supply of money rapidly to prevent cash shortages in case all the country's ATMs froze at once. Thus turbocharged, shortly after Sun Valley the market had spiraled upward like a Fourth of July firecracker. If you had invested a dollar in January in the NASDAQ, an index full of technology stocks, your bet was now worth a buck twenty-five. The same bet in BRK was worth only eighty cents. By December, the Dow Jones Industrial Average closed the year up twenty-five percent. The NASDAQ blasted through the 4,000-point level, up an incredible eighty-six percent. BRK fell to $56,100. In just a few months BRK's lead for the past five years had been tsunamied.

For more than a year, financial pundits had made sport of Buffett, a has-been, an emblem of the past. Now,

on the eve of the millennium, *Barron's,* a weekly must-read on Wall Street, put Buffett on its cover with the headline "Warren, What's Wrong?" The accompanying article said Berkshire had "stumbled" badly. He was running a Pamplona of negative press like nothing he had ever experienced. "I know it's going to change," he repeated over and over, "I just don't know when."[4] His shrilling nerves were urging him to fight back. Instead, he did nothing. He did not respond.

Near the end of 1999, even many longtime "value investors" who followed Buffett's style had either shuttered their businesses or given in and bought technology stocks. Buffett did not. What he called his Inner Scorecard—a toughness about financial decisions that had infused him for as long as anyone could remember—kept him from wavering.

"I feel like I'm on my back, and there's the Sistine Chapel, and I'm painting away. I like it when people say, 'Gee, that's a pretty good-looking painting.' But it's my painting, and when somebody says, 'Why don't you use more red instead of blue?' Good-bye. It's my painting. And I don't care what they sell it for. The painting itself will never be finished. That's one of the great things about it.[5]

"The big question about how people behave is whether they've got an Inner Scorecard or an Outer Scorecard. It helps if you can be satisfied with an Inner Scorecard. I always pose it this way. I say: 'Lookit. Would you rather be the world's greatest lover, but have everyone think you're the world's worst lover? Or would you rather be the world's worst lover but have everyone think you're the world's greatest lover?' Now, that's an interesting question.

"Here's another one. If the world couldn't see your results, would you rather be thought of as the world's greatest investor but in reality have the world's worst record? Or be thought of as the world's worst investor when you were actually the best?

"In teaching your kids, I think the lesson they're learning at a very, very early age is what their parents put the emphasis on. If all the emphasis is on what the world's going to think about you, forgetting about how you really behave, you'll wind up with an Outer Scorecard. Now my dad: He was a hundred percent Inner Scorecard guy.

"He was <u>really</u> a maverick. But he wasn't a maverick for the sake of being a maverick. He just didn't care what other people thought. My dad taught me how life should be lived. I've never seen anybody quite like him."

PART TWO

The Inner Scorecard



5

The Urge to Preach

Nebraska • 1869–1928

John Buffett, the first known Buffett in the New World, was a serge weaver believed to be of French Huguenot descent. He fled to America in the seventeenth century to escape religious persecution and settled in Huntington, Long Island as a farmer.

Little else is known of the earliest Buffetts in the United States, except that they were farmers.[1] It is clear, however, that Warren Buffett's urge to preach is part of a family legacy. An early example was one of John Buffett's sons,[2] remembered for sailing north across the Long Island Sound to a coastal settlement in Connecticut, where he climbed a hill and commenced to preach religion to the heathens. But it is doubtful that the outcasts, scofflaws, and unbelievers of Greenwich repented on hearing his words, since history records that lightning promptly struck him down.

Several generations later, Zebulon Buffett, a farmer in Dix Hills, Long Island, left his trace on the family tree as the first recorded exemplar of another Buffett trait—treating one's own relatives with extreme tightfistedness—when his grandson, Sidney Homan Buffett, quit his job working on Zebulon's farm in disgust over the insultingly low pay.

A gangly teenager, Sidney went west to Omaha, Nebraska, to join his maternal grandfather George Homan in his livery-stable business.[3] The year was 1867; Omaha a settlement consisting mainly of a collection of wooden shacks. Since its days as a trail-outfitting center for westbound prospectors during the Gold Rush, Omaha supplied the staples to pioneers—gambling, women, and booze.[4] But with the end of the Civil War, it was about to be transformed. A grand transcontinental railroad would link the coasts of the newly reunited states for the first time, and Abraham Lincoln himself decreed that Omaha would be the railroad's headquarters. The coming of the Union Pacific filled the town with a bustling commercial spirit, as well as a sense of destiny. Nonetheless, the place retained its reputation as the Sodom of a pious state,[5] and a well-known "rogue's rookery."

After working at the livery stable, Sidney left to open the first grocery store in a town with no paved streets. In this respectable but modest business, he sold fruit, vegetables, and game until eleven every night: prairie chickens for a quarter, jackrabbits for a dime.[6] His grandfather Zebulon feared for Sidney's prospects and pelted him with letters containing advice, all rules that—with one significant exception—his descendents still heed.

"Try to be punctual in all your dealings. You will find it difficult to get along with some men, deal as little as possible with such…. Save your credit, for that is better than money…. If you go on in business, *be content with moderate gains.* Don't be too hasty to get too rich…. I want you to live so as to be fit to live and fit to die." [7]

Content with moderate gains in an upward-scrambling, freewheeling place, Sidney gradually built the store into a success.[8] He married Evelyn Ketchum and they had six children, several of whom died young. Two sons, Ernest and Frank, were among the survivors.[9]

It has been said, "No man was ever better named than Ernest Buffett."[10] Born in 1877, he ended his formal

schooling in the eighth grade, and joined his father behind the counter during the Panic of 1893. Far more eccentric than his businesslike brother, Frank Buffett became a large, stove-bellied man, the heathen among the Puritans of the family, who even enjoyed the occasional drink.

One day, a stunning young woman appeared at the store looking for a job. Her name was Henrietta Duvall, and she had traveled to Omaha to escape an unfriendly stepmother.[11] Frank and Ernest were both immediately smitten, but it was the more handsome Ernest who won Henrietta as his wife in 1898. Ernest and Henrietta's first child, Clarence, was born within a year of their marriage, followed by three more sons and a daughter. Shortly after the quarrel, Ernest went into a partnership with his father, Sidney; eventually he left to set up another grocery store. Frank remained single for most of his life, and for the next twenty-five years, as long as Henrietta lived, he and Ernest apparently never spoke.

Ernest set about becoming a pillar of the town. At his new store, the "hours were long, pay low, opinions cast in iron, and foolishness zero."[12] Always dressed in a dapper suit, he scowled from his desk on the mezzanine to stop his employees from idling, and penned letters demanding that suppliers "kindly speed up the celery."[13] He charmed his lady customers, but never hesitated to judge and carried a little black notebook to write down the names of people who irritated him—Democrats, and people who didn't pay their grocery bills.[14] Ernest was sure that the world needed his opinion and traveled to conferences around the country to bemoan the sorry state of the nation with like-minded businessmen.[15] *"Self-doubt was not his strong suit. He always spoke in exclamation points and expected you to acknowledge that he knew best,"* says Buffett.

In a letter to his son and daughter-in-law advising them to always have some ready cash, he described the Buffetts as bourgeois incarnate:

"I might mention that there has never been a Buffett who ever left a very large estate, but there has never been one that did not leave something. They never spent all they made, but always saved part of what they made, and it has all worked out pretty well."[16]

"Spend less than you make" could, in fact, have been the Buffett family motto, if accompanied by its corollary, "Don't go into debt."

Henrietta, also of French Huguenot extraction, was as thrifty, iron-willed, and teetotaling as her husband. A devout Campbellite,[*4] she too felt the call to preach. While Ernest was at the store, she would harness the horses to the family's fringed surrey and gather her children to drive out into the countryside, where she knocked on farmhouse doors to hand out tracts. Her temperament did nothing to lighten the Buffett family tendencies. In fact, by some accounts, Henrietta was the preachingest of all the preaching Buffetts who had ever lived.

The Buffetts were tradespeople, not members of the merchant or professional class, but as pioneer settlers of Omaha, they were exceedingly conscious of their place. Henrietta's hope was that her four sons and daughter would become the first in the family to graduate from college. To pay for their schooling, she pared her household budget—more than was strictly necessary, it is said, even by Buffett standards. All the boys toiled at the family store when they were young. Then Clarence began a career in the oil business, with a graduate degree in geology.[17] George, her second, got a PhD in chemistry and wound up on the East Coast. Her three youngest, Howard, Fred, and Alice, all graduated from the University of Nebraska. Fred took up duties at the family store, and Alice became a home-economics teacher.

Howard, the third son and Warren's father, was born in 1903. He had unhappy memories of feeling like an outsider during his years at Central High School in the early 1920s. Omaha was run by a handful of families who owned the stockyards, banks, department stores, and had inherited fortunes from the breweries now closed under Prohibition. "My clothes were pretty much hand-me-downs from my two older brothers," he said, "and I was a paperboy and the son of a grocery man. So the high school fraternities didn't look my way, and I was just one of the boys from what approximated outside of the tracks." He felt these snubs keenly; they marked him with a deep revulsion toward rank and privilege acquired by birth.[18]

At the University of Nebraska, Howard majored in journalism and worked at the college newspaper, the *Daily Nebraskan,* where he was able to combine the outsider's love of reporting on the activities of the powerful with the family fascination with politics. It would not be long before he met Leila Stahl, a girl whose background mingled the same interest in newspapers with self-consciousness about social class.

Leila's father, John Stahl, a sweet little dumpling of a man of good German-American descent, had traveled Cuming County, Nebraska, in a horse and buggy with a buffalo robe on his lap as superintendent of schools.[19] The family history says he adored his wife, Stella, who gave him three daughters—Edith, Leila, and Bernice—and one son, Marion. Of English descent, Stella was unhappy living in West Point, Nebraska, a town of German-American hausfraus, where she never felt at ease. It is said that she consoled herself by playing the pipe organ. In 1909, Stella suffered a mental breakdown. This must have seemed an ominous recurrence of family history, for her mother, Susan Barber, who was described as "maniacal," had been an inmate of the Nebraska State Insane Asylum, where she died in 1899. After an incident in which, according to family lore, Stella went after Edie with the fireplace poker, John Stahl gave up his traveling job to care for their children. Increasingly, Stella retreated to her darkened room, where she sat twisting her hair, apparently depressed. This isolation was punctuated by occasional episodes of cruel behavior toward her husband and the girls.[20] Stahl, realizing that he could not leave the children alone with their mother, bought a newspaper, the *Cuming County Democrat,* so he could make a living working from home. From the time Leila was five, she and her sisters essentially ran the household and helped their father put out the paper. She learned to spell by setting type. "When I was in the fourth grade," she recounted, "we had to come home from school and set type before we could go out and play." By age eleven she could run a jackhammer of a Linotype press, and every Friday she missed school because of the headaches she suffered after having to get out the paper on Thursday night. Living above the business in a house infested by mice, the family pinned all their hopes for the future on Marion, the brilliant brother who was studying to be a lawyer.

During World War I the Stahls' difficulties grew. When the *Cuming County Democrat* came out against Germany in a German-American town, half their subscribers dropped the paper and switched to the *West Point Republican*— a financial catastrophe. John Stahl himself was an ardent supporter of the Democratic political giant William Jennings Bryan. At the turn of the century, Bryan had been one of the most important politicians of his era, nearly becoming President of the United States. In his heyday, he stood for a kind of "populism" that he set forth in his most famous speech:

"There are two ideas of government. There are those who believe that if you just legislate to make the well-to-do prosperous, that their prosperity will leak through on those below. The Democratic idea has been that if you legislate to make the masses prosperous their prosperity will find its way up and through every class that rests upon it."[21]

The Stahls viewed themselves as part of the masses, the class that the rest rested upon. Their ability to bear that load was not increasing. By 1918, Leila's sixteen-year-old sister Bernice—considered the dullard of the sisters, with a tested IQ of 139—had apparently begun to give up on life. She was convinced she would end up mentally ill like her grandmother and mother, and die like her grandmother in the Nebraska State Insane Asylum.[22] During this time, Leila's educational schedule suggests a chaotic home life. She delayed going to college for two years to help her father. After a single semester at the University of Nebraska in Lincoln, she returned home for another year to help out again.[23] Energetic and considered the brightest of the girls, Leila later portrayed this episode in a different light, describing her family as perfect and saying that she stayed out of college three years to earn her tuition.

When she arrived at Lincoln in 1923, she had one clear and acknowledged ambition, which was to find a husband. She headed straight to the college newspaper and asked for a job.[24] A small-boned girl with a soft brown bob who bustled like the robin of spring, Leila wore a charming smile that softened the expression in her arrowhead-sharp eyes. Howard Buffett, who had started at the *Daily Nebraskan* as a sportswriter before rising to editor, hired her straightaway.

Good-looking in a dark-haired, professorish way, Howard was one of only thirteen in the entire student body

who had been "tackled" for the Innocents, a society of outstanding men on campus modeled after the honorary societies of Harvard and Yale. Named for the thirteen Popes Innocent of Rome, the Innocents declared themselves champions against evil. They also sponsored the prom and Homecoming.[25] Presented with such a big man on campus, Leila grabbed him instantly.

"Well, I don't know whether she worked very much on the *Daily Nebraskan,*" Howard said later, "but she sure worked on *me*. I've never regretted it—don't make any mistake about it—it's the best deal I ever made."[26] But Leila was a good student with a head for mathematics, so when she announced plans to drop out of college and marry, her calculus professor reportedly slammed down the textbook in dismay.[27]

Howard, who was about to graduate, went to his father to discuss his choice of career. He had no real interest in money but, at Ernest's insistence, gave up the high-minded, low-paying business of journalism and the possibility of law school in favor of selling insurance.[28]

The newlyweds moved into a tiny white four-room bungalow in Omaha, which Ernest filled with groceries as their wedding gift. Leila furnished it top to bottom for $366—items bought, she noted, at "sort of wholesale prices."[29] From that day forward she channeled her energy, ambition, and talent for math—which by all accounts exceeded her husband's—into boosting Howard's career.[30]

In early 1928, the Buffetts' first child, Doris Eleanor, was born.[31] Later that year, Leila's sister Bernice suffered a mental breakdown and quit her teaching job. But Leila seemed free of the moody listlessness that oppressed her mother and sister. A whirlwind of energy, she could talk nonstop for hours (although she litanied the same stories). Howard called her the "Cyclone."

As the Buffetts settled into the life of a young married couple, Leila got Howard to join her own First Christian Church, and noted proudly in her "day book" when he was made a deacon.[32] Still avidly interested in politics, Howard began to show signs of the family urge to preach. But when he and Ernest turned the dinner table into a forum for endless discussions of the subject, Howard's brother Fred was so bored that he would lie down on the floor and go to sleep.

Leila had converted to her new husband's politics, however, and was now an enthusiastic Republican. The Buffetts applauded Calvin Coolidge, the man who proclaimed "The chief business of the American people is business,"[33] and shared his belief in small government with minimal regulation. Coolidge had lowered taxes and granted citizenship to American Indians, but mostly he shut up and stayed out of the way. In 1928, his Vice President, Herbert Hoover, was elected as his successor, vowing to continue pro-business policies. The stock market had prospered under Coolidge, and the Buffetts felt Hoover was the man to keep it going.

* * *

"When I was a kid," Warren would later say, *"I got all kinds of good things. I had the advantage of a home where people talked about interesting things, and I had intelligent parents and I went to decent schools. I don't think I could have been raised with a better pair of parents. That was enormously important. I didn't get money from my parents, and I really didn't want it. But I was born at the right time and place. I won the 'Ovarian Lottery.'"*

Buffett always credited most of his success to luck. When it came to his recollections of his family, however, he was creating some of his own reality. Few would agree he couldn't have been raised with a better set of parents. When he talked about how important it is for parents to have an Inner Scorecard when raising their kids, he always used his father's Inner Scorecard as an example. He never mentioned his mother.

The Bathtub Steeplechase

Omaha • 1930s

In the 1920s, the champagne bubbles of a frothy stock market led ordinary people to invest for the first time.[1] By 1927, Howard Buffett decided to join them and got a job as a stockbroker with the Union State Bank.

The celebration ended two years later. On "Black Tuesday," October 29, 1929, the market dropped $14 billion in a single day.[2] Wealth worth four times the budget of the United States government evaporated in a few hours.[3] The market's losses in 1929 cost $30 billion, close to what the country had spent fighting World War I.[4]

Amid the bankruptcies and suicides that followed, people began to hoard money, and nobody wanted stocks.

"It was four months before my dad made his next sale. His first commission was five bucks. My mother used to go out with him at night on the streetcar, waiting outside when he would call on somebody, just so he wouldn't feel so depressed when he came home."

Ten months after the crash, on August 30, 1930, the Buffetts' second child, Warren Edward, was born, five weeks before his due date.

An anxious Howard went to see his father, hoping to be hired on at the family grocery store. All the Buffetts, even those with other jobs, put in a stint at the store every week, but only his brother Fred worked there full-time, and that for meager pay. Now, Ernest told Howard that he had no money to pay another son.[5]

In one sense, Howard felt relief. He'd "escaped" from working at the store and never wanted to go back.[6] But he worried that his family would starve. "Don't worry about food, Howard," Ernest told him. "I'll just let your bill run."

"That was my grandfather," Warren says. *"'I'll just let the bill run.'"* It wasn't that Ernest didn't love his family, *"you just wished he showed it a little more often."*

"I guess you'd better go back on home to West Point," Howard told his wife. "At least you'll have three meals a day." But Leila stayed. She walked to Robert's Dairy to pay the bill rather than pay a streetcar fare. She started skipping her church circle because she couldn't afford the twenty-nine cents for her turn at bringing coffee.[7] Rather than run up a tab at the family store, she sometimes went without to make sure Howard was fed.[8]

One Saturday, two weeks before Warren's first birthday, people stood on line downtown, dripping with sweat in the hundred-degree heat, waiting to reclaim their cash from the shaky custody of the local banks. They shuffled forward from early morning until ten p.m. and counted and recounted the people ahead in line, silently repeating a financial rosary: Please, God, let there be money left when it's my turn.[9]

Not every prayer was heard. Four state banks closed their doors that month, leaving their depositors unpaid. One of them was Howard Buffett's employer, the Union State Bank.[10] Warren repeats the family legend: *"On August 15, 1931, he went down to the bank. It was two days after his birthday, and the bank was closed. He had no job, and his money was in the bank. He had two little kids to feed.*[11] *He didn't know what to do. There was not another job to find."*

But within two weeks Howard and two partners, Carl Falk and George Sklenicka, filed the papers to start a stockbrokerage firm, Buffett, Sklenicka & Co.[12] It was a maverick decision—to open a stockbroking business at a time when no one wanted to buy stocks.

Three weeks later, England went off the "gold standard."[*5] This meant that, to avoid bankruptcy, the country —which was deep in debt—would simply print more money to pay off its loans. This is a neat trick that only a government can pull off. It was as if the country with the most widely trusted and accepted currency of the age announced: "We are going to write bad checks, and you can take them or else." The announcement instantly exploded trust in formerly gilt-edged institutions. All over the world, financial markets plunged.

The already sputtering United States economy coughed, then stalled, then plummeted into free fall. A rush of banks was sucked into its trailing vacuum and collapsed. In city after city, depositors fought their way to the teller's window and were turned away.[13] But in the middle of this maelstrom, Howard's business was succeeding. His clients at first were mostly family friends. He sold them safe securities like utility stocks and municipal bonds. In the firm's first month of operation, as financial panic spread around the world, he produced $400 of commissions and the firm was profitable.[14] Through the ensuing months, even as people's savings evaporated and faith in banks disappeared, Howard stuck to the same kind of conservative investments that had gotten him started, steadily adding customers and growing his business.[15]

The family's fortunes had turned around. Then, shortly before Warren's second birthday, twenty-month-old Charles Lindbergh Jr. was kidnapped and murdered in March 1932. The snatching of the "Lone Eagle's" baby was "the biggest story since the Resurrection," according to pundit H. L. Mencken. The country flew into a kidnapping paranoia in which parents conveyed their terror of abduction to their children, the Buffetts being no exception.[16] Around then, Howard suffered some kind of attack serious enough for Leila to call an ambulance. The Mayo Clinic eventually diagnosed him with a heart condition.[17] From that time on, he lived with restrictions: He wasn't supposed to lift things, run, swim. Leila, whose life now revolved entirely around Howard, the Prince Charming who had rescued her from the miserable fate of running a Linotype press, must have been terrified at the thought of anything happening to him.

Warren was already a cautious child, who had kept his knees bent and stayed close to the ground when he learned to walk. Now, when his mother took him to her church circle meetings, he was content to sit placidly at her feet. She diverted him with an improvised toy—a toothbrush. Warren gazed quietly at the toothbrush for two hours at a stretch.[18] What could he have been thinking as he stared at its columns and rows of bristles?

That November, with the country in crisis, Franklin Delano Roosevelt was elected President. Howard was certain this man of privilege who knew nothing of the common people would pollute the country's currency and drive it to ruination.[19] He stuck a big sack of sugar in the attic to prepare for the worst. By this time, Howard looked like a boyish Clark Kent in a business suit, nearsighted behind his wire-rimmed glasses, with receding dark hair, an earnest smile, and a genial manner. But he turned thunderous when it came to politics, reviewing the news of the day at top volume over dinner. Doris and Warren probably had no idea what Howard meant as he ranted about the horrors that would befall the country now that a Democrat occupied the White House. But terms like "socialism" started to embed themselves in the children's minds. After dinner, they watched their awe-inspiring father retire to his red leather armchair in the living room next to the radio and disappear for hours behind his nightly newspaper and magazines.

Politics, money, and philosophy were acceptable topics for dinner-table discussion at the Buffett house, but feelings were not.[20] Even in an era of undemonstrative parents, Howard and Leila were notable for their lack of warmth. Nobody in the Buffett household said "I love you," and nobody tucked the children into bed with a kiss.

But to everyone outside the family, Leila appeared the perfect mother and wife. People called her peppy,

upbeat, motherly, sweet, even "a gusher."[21] In repeating her history, as she was fond of doing, she painted out the awkward bits, describing herself as a fortunate person brought up by wonderful Christian parents. Her favorite stories told of her and Howard's sacrifices—the three years of school she had missed to earn her college money, the four months Howard had gone without making a sale when he first started his business, walking to the dairy to save streetcar fare. Leila referred often to bouts of "neuralgia" (sometimes mistaken for migraines), which she attributed to the childhood years spent alongside the pounding Linotype.[22] Nevertheless, she acted as though she must do everything and drove herself hard—bridge teas and steak fries, birthdays and anniversaries, calling on neighbors and cooking for church suppers. She paid more visits, baked more cookies, and wrote more notes than anyone. When pregnant, she once cooked dinner by herself for the family while trying to quell her morning sickness by smelling a bar of soap.[23] Above all her attitude was: anything for Howard. "She crucified herself," said her sister-in-law Katie Buffett.[24]

But Leila's attitude of duty and sacrifice had another, darker, side: blame and shame. After Howard left on the streetcar for work in the morning, Doris and Warren would be playing or getting dressed and suddenly Leila might explode at them. Something in the tone of her voice might give a clue that the fuse was lit, but most of the time there was no warning.

"It was always something that we did or said, and there would be this flash, and then it didn't subside. All your past sins would be brought up. It was just endless. And my mother attributed it sometimes to having neuralgia, but she never showed that outwardly."

When in a rage, Leila would verbally lash the children over and over again, always the same: their lives were easy compared to her sacrifices; that they were worthless, ungrateful, and selfish; and should feel ashamed. She would pick at every real and imagined flaw; she nearly always aimed the tirade at Doris, and carried on saying the same things for at least an hour, sometimes as long as two. She never stopped until both children "just folded," says Warren, weeping helplessly. "She was not content until she reduced you to tears," says Doris. Warren was forced to watch her explosions, unable to protect his sister and desperate to avoid being targeted himself. While it was apparent that her attacks were deliberate and she had some degree of control over them, it isn't at all clear how she perceived her behavior as a parent. But no matter what she thought she was doing, by the time Warren was three years old and their sister Roberta, known as Bertie, was born, "it couldn't be put back together," he says, for him or for Doris. The damage to their souls was done.

The children never asked for help from their father, even though they knew that he was aware of Leila's eruptions. Howard might say to them, "Mom's on the warpath," a tipoff that a rage was coming, but he didn't intervene. Usually, however, Leila's explosions took place out of Howard's earshot, and they were never aimed at him. In a sense, therefore, he was the children's protector. Even though he did not save them, Howard still meant security, because when he was around, they were safe.

* * *

Outside the tidy white bungalow on Barker Avenue, Nebraska was sliding into lawlessness. Bootlegging flourished in Omaha until Warren was three years old.[25] Out in the countryside, farmers faced with foreclosure on mortgages backed by nearly worthless farmland rose up in civil disobedience.[26] Five thousand farmers marched on the state capitol in Lincoln until panicked lawmakers hastily passed a mortgage moratorium bill.[27]

As the cold winds scoured the parched western sand hills in November of 1933, they kicked up vast swirls of topsoil in towering black clouds that swept eastward as far as New York City at a clipper speed of sixty miles per hour. The gale shattered plate-glass windows and blasted cars off the road in its wake. The *New York Times* compared it to the volcanic eruption of Krakatoa. The dust-storm years had begun.[28]

In the middle of the worst drought of the twentieth century, Midwesterners took refuge in their homes as grit

sandblasted the paint and pitted the glass on their automobiles. Leila swept red dust off the porch every morning. On Warren's fourth birthday, a cloud of ruddy dust buried the Buffetts' front porch and the wind blew the paper plates and napkins off the party table.[29]

Along with the dust came years of extraordinary heat. In summertime 1934 the thermometer in Omaha hit 118 degrees. After searching for days, a Nebraska farmer found his cow down a crack in a remote stubble field, trapped when the parched earth split apart.[30] Plainsmen told tall tales about someone who fainted dead away when hit in the face by a drop of water and had to be revived with three buckets of sand. People slept in their backyards, camped on the grounds of Central High School, and on the grassy lawn of Omaha's Joslyn Art Museum, so as not to roast in the ovens of their own homes. Warren tried in vain to sleep covered in bedsheets soaked with water, but nothing could cool the baked air that steamed up to his second-story room.

With the record drought and heat of 1934,[31] millions of grasshoppers arrived to devour the parched corn and wheat down to stubble.[32] Leila's father, John Stahl, suffered a stroke that year, and while visiting his grandfather in West Point, Warren could hear the background drone of the ravenous hoppers. At their worst, they consumed fence posts, the laundry on the clothesline, and finally one another, gumming up tractor engines and clouding the air, thick enough to obscure a car.[33]

In truth, the early 1930s brought many other things to fear than fear itself.[34] The economy worsened. Imitators of the era's most notorious gangsters—Al Capone, John Dillinger, and Baby Face Nelson—roamed the Midwest, pillaging the already vulnerable banks.[35] Parents worried about the dust-bowl drifters and gypsies who passed through town. Occasional "mad dog" rabies scares quarantined children at home. The public swimming pools closed in the dog days of summer out of fear of "infantile paralysis"—polio—and parents warned their children constantly that if their lips touched the public water fountain, it could put them in an iron lung.[36]

Yet Nebraskans were trained from birth to respond to calamity with teeth-gritted optimism. Those years of dust and drought simply formed the backdrop to Midwestern life. The children grew up accustomed to outlandish weather in a state plagued with tornadoes and winds strong enough to blow a train from its tracks.[37]

The three little Buffetts went to school, played with friends, and ran around with a dozen kids in hundred-degree weather at neighborhood potluck picnics, their fathers in suits and their mothers in dresses and stockings.

Many of their neighbors may have suffered, their standard of living in decline, but Howard, son of a grocery man, had elevated his family into the more comfortable half of the middle class. "We made steady progress even in those tough times," he was to recall, "in an extremely modest sort of way." He was being modest about the family's modesty. While fifty men stood in line for a $17-a-week job driving the orange Buffett & Son grocery trucks, Howard's persistence in knocking on doors had made his stockbroking business, now called Buffett & Co., a success.[38] Omaha was briefly under martial law during violent streetcar strikes and rioting in 1935, but Howard bought a brand-new Buick. He became active in local Republican politics. At age seven Doris, who had always worshipped her father, contemplated his future biography and wrote in the front of one of her notebooks, *Howard Buffett, A Statesman.*[39] A year later, still in the shadow of the Great Depression, Howard built the family a much larger two-story red-brick Tudor-revival house in Dundee, a suburb of Omaha.[40]

As the family prepared to move, Leila got word that her brother, Marion, now a successful lawyer in New York, had been stricken with incurable cancer at age thirty-seven. *"My uncle Marion was the pride and joy of my mother's family,"* says Buffett, as well as their principal hope to carry on the family name, unsullied by insanity.[41] His death that November, childless, devastated his family. The next piece of bad news arrived when Leila's father, John Stahl, suffered another stroke that year, this one debilitating. Her sister Bernice, who cared for him at home, seemed increasingly sunk in depression. Her other sister, Edie, a schoolteacher,

the prettiest and most adventurous of the girls, had vowed to stay single until either her thirties or until Bernice wed, but Leila, sharp and aware, refused to be trapped by her family's woes. She was going to make it, no matter what; she was going to create a normal life with a normal family.[42] She planned the move and bought new furniture. In a major step up in the world, Leila could afford to hire a part-time housekeeper, Ethel Crump.

Now a more experienced mother of a more prosperous family, Leila formed a much healthier relationship with her youngest child, Bertie, as the intervals between her rages lessened. Bertie knew her mother had a temper but says she always felt loved. Warren and Doris never did. And Leila's obvious affection for Bertie did not help their sense of worthlessness.[43]

In November 1936, Roosevelt was reelected to a second term. Howard's only consolation was that FDR would be out in another four years. While he read his conservative journals each night, the children listened to the radio, played games, or sang hymns as Leila accompanied them on the family's latest acquisition—a pipe organ like the one her own mother had played.

While the Buffetts' new house and occasional luxuries like the organ reflected their upward progress, Leila always bought her children thrifty, practical, forgettable gifts, clothing bought on sale that couldn't be returned, and necessities—nothing that answered a child's fantasies. Warren had a little single-oval HO-gauge train set and coveted a more elaborate version, the kind he saw at the Brandeis department store downtown, which had multiple engines twisting and turning past flashing lights and signals, rising over snow-covered hills and dropping into tunnels, racing past tiny villages and disappearing into pine forests. But the closest he came to owning it was buying the catalog that depicted it.

"If you were a little kid with one little oval track, looking at this thing, it was completely unbelievable. You'd gladly pay a dime for the model-train catalog and just sit there and fantasize."

An introverted child, Warren could lose himself for hours in a model-train catalog. Sometimes, however, as a preschooler, he "hid," as he put it, at his friend Jack Frost's house, developing a babyish "crush" on Jack's kindhearted mother, Hazel. As time passed, his habit grew of spending much time at neighbors' and relatives' houses.[44] His favorite relative was his father's sister Alice, a tall woman who had remained unmarried, lived at home with her father, and taught home economics. Surrounding Warren with warmth, she showed interest in everything he did and was thoughtful about how to motivate him.

By the time Warren entered kindergarten,[45] his hobbies and interests revolved around numbers. Around age six, he became fascinated by the precision of measuring time in seconds, and desperately wanted a stopwatch. Alice knew better than to offer such an important gift with no strings. *"She was nuts about me,"* Buffett says, *"but she still would attach a condition or two. I had to eat asparagus or something like that. That was what motivated me. But I got a stopwatch in the end."*

Warren would pick up his stopwatch and summon his sisters to join him in the bathroom they shared to watch the new game he had invented.[46] He filled the bathtub with water and picked up his marbles. Each had a name. He lined them up on the flat edge at the back of the tub. Then he clicked the stopwatch just as he swept the marbles into the water. They raced down the porcelain slope, clicking and rattling, jumping as they hit the waterline. The marbles chased each other toward the stopper. When the first one hit, Warren punched the stopwatch and declared the winner. His sisters watched him race the marbles over and over, trying to improve their times. The marbles never tired, the stopwatch never erred, and—unlike his audience—Warren never seemed bored by the repetition.

Warren thought about numbers all the time and everywhere, even in church. He liked the sermons, he was bored by the rest of the service; he passed the time by calculating the life span of hymn composers from their birth and death dates in the hymnals. In his mind, the religious should reap some reward for their faith. He assumed that hymn composers would live longer than average. Living longer than average seemed to him an important goal. But piety, he found, did nothing to improve longevity. Lacking any personal sense of grace, he began to feel skeptical about religion.

The bathtub steeplechase and the information he had collected about the hymn composers had taught him something else, however, something valuable. He was learning to calculate odds. Warren looked around him. There were opportunities to calculate odds everywhere. The key was to collect information, as much information as you could find.

7

Armistice Day

Omaha • 1936–1939

When Warren started first grade at Rosehill School in 1936,[1] he took to it right away. For one thing, it liberated him from spending part of the day at home with his mother. School opened up a whole new world for him, and right away he made two friends, Bob Russell and Stu Erickson. He and Bob, whom he called "Russ," began walking to school together, and on some days, he went over to the Russells' house after school. On other days, Stu, whose family lived in a modest frame house, went to the Buffetts' new brick home in the Happy Hollow country club neighborhood. Warren had something to do almost every day after school until his father returned from work. He had always gotten along with other children; now they kept him safe.

He and Russ would sit on the Russells' porch for hours, watching the traffic on Military Avenue. Scribbling in notebooks, they filled column after column with the license-plate numbers of passing cars. Their families found this hobby strange but attributed it to the boys' love of numbers. They knew Warren liked to calculate the frequency of letters and numbers on license plates. And he and Russ never explained their *real* reason. The street in front of the Russells' house was the only route out of a cul-de-sac neighborhood where the Douglas County Bank was located. Warren had convinced Russ that if someday that bank were robbed, the cops could nab the robbers using license-plate numbers. And only he and Russ would own the evidence that the cops would need to solve the crime.

Warren liked anything that involved collecting, counting, and memorizing numbers. He was already a keen stamp and coin collector. He counted how often letters recurred in the newspaper and in the Bible. He loved to read and spent many hours with books he checked out of the Benson Library.

But it was the crime-fighting and the theatrical potential of the license plates—which his family and the Russells never knew about—that brought out other aspects of his temperament. He loved to play cop, and he liked almost anything that brought him attention, including dressing up and playing at different roles. When Warren was a preschooler, Howard had returned from business trips to New York City with costumes for him and Doris, and he became an Indian chief, a cowboy, or a policeman. Once he started school, he began coming up with dramatic ideas of his own.

Warren's favorite games, however, were competitive, even if he was only competing with himself. He progressed from the bathtub steeplechase to a yoyo, then to bolo, sending the bolo ball on its rubber string flying away from his wooden paddle a thousand times. On Saturday afternoons at the Benson Theater, in between movies—three films for a nickel, plus a serial—he stood on the stage with other kids, competing to see who could keep the ball going longest. In the end everyone else stepped down, exhausted, leaving him alone onstage, still smacking the ball.

He even played out his competitiveness in his special, teasing, warm relationship with Bertie. He called her "chubby" because it made her mad and tricked her into singing at the dinner table, which was against the family rules. He played games with her constantly but never let her win, even though she was three years

younger. But he had a tender side too. Once when Bertie stuffed her treasured Dy-Dee doll in a wastebasket in a fit of anger at her mother, Warren rescued it and returned it to her in the sunroom. "I found this in the wastebasket," he said. "You wouldn't want this in the wastebasket, would you?"[2] Even as a child, Bertie recognized that her brother knew how to be tactful.

Bertie, on the other hand, was the self-confident, adventurous one, which Doris and Warren thought might explain why Leila rarely tore into her. Bertie had her own theory, seeing herself as someone who was able to keep up appearances in the way that their mother valued.

What mattered most to Leila was the esteem of others; she had what Warren would later come to call an Outer Scorecard. She was always worrying about what the neighbors would think, nagging her daughters to create the right appearance. "I was so careful to do the right things. I didn't want it to happen to me," Bertie says of Leila's tirades.

Doris was the rebellious one. Early on, she displayed a refined sense of taste and a high threshold for excitement, which put her at odds with the Buffetts' sedate routines and cheeseparing ways. The exotic, the stylish, and the novel attracted her, while her mother sheathed herself in a cloak of humility and preferred a self-conscious austerity to any kind of display. Thus Doris's very being seemed an affront to her mother, and the two clashed constantly. Leila's occasional rages were no less fierce than before. Doris had become a pretty child. And *"the prettier she got,"* says Buffett, *"the worse it was."*

Warren showed early signs of a knack with people, but was also the competitive, precocious child, intellectually aggressive yet physically retiring. When his parents got him boxing gloves at age eight, he took one lesson and never put them on again.[3] He tried skating, but his ankles wobbled.[4] He didn't join in the street games with the other boys, even though he loved sports and was well-coordinated. The only exception to his aversion to hand-to-hand combat was Ping-Pong. When the Buffetts got a Ping-Pong table, he slammed away at it night and day against anyone who would take him on—his parents' friends, kids from school—until he became a menace with the paddle. On the single occasion anyone remembers that called for fists, however, little Bertie went out and took care of things for him. He cried easily if anyone was mean to him; he worked hard to be liked and to get along well with others. Yet despite Warren's cheerful demeanor, something about him struck his friends as lonely.

The Buffetts took a photograph of the three children at Christmas in 1937. Bertie seems happy. Doris looks wretched. Warren, clutching his favorite possession, a nickel-plated money changer, a gift from his aunt Alice, looks far less happy than called for by the occasion.

Leila's determination that they appear to be the perfect Norman Rockwell family hardened when Warren was eight and new calamities befell the Stahls. Her mother, Stella, had deteriorated, and the family admitted her to the Norfolk State Hospital, formerly the Nebraska State Insane Asylum, where Leila's grandmother had died.[5] Her sister Edie spent three months in the hospital and nearly died of peritonitis after suffering a ruptured appendix. Afterward, she made up her mind to go ahead and get married, and wed a man of questionable background who made her laugh. This did not improve Leila's dim view of her sister, who had always seemed to her more interested in adventure than duty.

Meanwhile, Howard had been elected to the school board, a new role that became a point of pride in the family.[6] Amid this mixture of Buffett progress and Stahl backsliding, Warren spent most of his time away from home, out of his mother's way. He paid calls around the neighborhood, made friends with other people's parents, and listened to political talk at their houses.[7] As he roamed, he began collecting bottle caps. He went to filling stations all over town, scooping bottle caps out of the wells beneath the ice chests where they had fallen after customers popped their sodas open. Down in the Buffetts' basement, the piles of bottle caps grew: Pepsi, root beer, Coca-Cola, ginger ale. He became obsessed with collecting bottle caps. All this free information was lying around untouched—and no one wanted it! He found it amazing. After dinner, he spread his collection of bottle caps on newspapers all over the living-room floor, sorting and counting, sorting and counting.[8] The numbers told him which soft drinks were most popular. But he also enjoyed sorting and counting as a way of relaxing. When he wasn't working on his bottle caps, he liked sorting and counting his

coin collection and his collection of stamps.

School for the most part bored him. In Miss Thickstun's fourth-grade class with Bob Russell and his other friend Stu Erickson, to pass the time, he played math games and counted in his head. He liked geography, however, and found spelling exciting, especially the "spell-downs," in which six students from the first grade competed with six from the second. Whoever won advanced and competed with the third graders, and so on. Theoretically, a first grader could win six times and eventually beat a sixth grader. *"I wanted to pass Doris on the spell-downs, and Bertie wanted to pass me."* Alas, all three Buffetts were very smart kids, and neither happened. *"Still, there was nothing like that for capturing our attention."*

Warren enjoyed spell-downs, but nothing motivated him like blackboard arithmetic. From the second grade on, students raced to the board, two at a time. First they competed at sums against the clock, then subtraction, finally multiplication and division, tallying their numbers down the board. Warren, Stu, and Russ were the brightest in the class. At first they scored about the same, but over time Warren pulled ahead a little. And then, with practice, a little more.[9]

Finally one day Miss Thickstun asked Warren and Stu to stay after school. Warren's heart pounded in his chest. "We wondered what the hell we had done," Stu says. Instead of a scolding, Miss Thickstun told Warren and Stu to move their books from the 4A section on one side of the room to the 4B section on the other.[10] They were skipping half a grade. Bob Russell was left behind, even though Mr. Russell got upset and complained.

Warren stayed friends with both, but kept his relationships with them separate: As before, although each was a friend of his, they were never really friends with each other.

Warren's fondness for minutiae continued to develop. His parents and their friends—who called him "Warreny"—got a kick out of his party trick of naming state capitals. By fifth grade he had immersed himself in the 1939 *World Almanac,* which quickly became his favorite book. He memorized the population of every city. He got a contest going with Stu over who could name the most world cities with populations over a million.[11]

One evening, however, Warren was distracted from his *Almanac* and his bottle caps by a terrible pain in his belly. The doctor made a house call, then went home to bed. But he couldn't get the house call out of his mind, so he returned and sent Warren to the hospital. Later that night, Warren underwent surgery for a ruptured appendix.

The doctor had almost been too late. Warren lay gravely ill in the Catholic-run hospital for several weeks. But cared for by the nursing sisters, he soon found the hospital was a comforting haven. As he began to recover, other pleasures came his way. The *World Almanac* was brought for him to study. His teacher made all the girls in his class write him get-well letters.[12] His aunt Edie, who understood her nephew well, brought him a toy fingerprinting kit. He knew exactly what to do with it. He coaxed each of the sisters into stopping by his room. He inked all of their fingers, got a set of prints, and filed this collection away carefully upon returning home. His family found this behavior entertaining. Who would want a set of nuns' fingerprints? But Warren theorized that one of the sisters might eventually commit a crime. And if that happened, then only *he, Warren Buffett,* would own the clues to the culprit's identity.[13]

Not long after his hospitalization, on an exceptionally cold and windy day in May 1939, his parents told him to get dressed. Then his grandfather appeared. Clad in a dignified single-breasted suit, a handkerchief tucked neatly in his breast pocket, Ernest Peabody Buffett looked the picture of respectability, like the president of the Rotary that he was.

Ernest had a way with children, despite his stern air, and he liked to entertain his grandchildren. Bertie worshipped him. "We're going to Chicago today, Warren," he announced. They boarded a train and went to see the Cubs play the Brooklyn Dodgers in what turned out to be a marathon baseball game that went scoreless for ten extra innings, tied nine to nine, and was finally called on account of darkness. It had lasted

for four hours and forty-one minutes.[14] After this exciting introduction to major-league baseball, Warren was thrilled when Ernest bought him a twenty-five-cent book about the 1938 baseball season. Warren memorized it. *"That was the most precious book to me,"* he says. *"I knew every player's history from every team and could have told you clearly every word in that book. I knew it in my sleep."*

His aunt Alice introduced him to another new interest when she gave him a book about bridge—probably Culbertson's *Contract Bridge Complete: The New Gold Book of Bidding and Play*.[15] Contract bridge—a social, psychological game in which figuring out the problem is as important as solving it—was sweeping the country at the time, and Warren found it suited him more than chess.[16]

Yet another of his many interests was music. For several years, he had been learning to play the cornet; among his heroes were the trumpet players Bunny Berigan and Harry James. Although music practice meant spending time at home with his mother, trying to please someone who could never be pleased, he persisted, and there came a time, after many painful hours of practice peppered with Leila's criticism, that he was rewarded by being chosen to participate in his school's Armistice Day ceremony.

Each year on November 11, the anniversary of the treaty that ended World War I, the entire Rosehill student body went down to the gym for a ceremony honoring the war's dead heroes. In what had become a school tradition, trumpet players stationed at doors on either side of the gym would alternate playing "Taps," one blowing the first *dum da dum* notes, and the other echoing *dum da DUM,* and so on.

That year, Warren's cornet skills had advanced enough for him to be given the part of the echo. He woke up the morning of the event, exhilarated at the prospect of performing in front of the entire school. When the big moment came, he was ready.

As Warren stood in the doorway with his cornet, the first trumpet player sounded, *Dum da DUM.*

But on the second *dum,* he hit a wrong note.

"My whole life flashed before my eyes, because I didn't know what to do with the echo. They hadn't prepared me for this. Paralyzed—my big moment."

Should he copy the other trumpet player's mistake or embarrass him by contradicting what he'd played? Warren was undone. The scene scalded itself permanently into his memory—except for what he did next. Years later, which course he followed—assuming he played any note at all—had become a blank.

He had learned a lesson: It might seem easier to go through life as the echo—but only until the other guy plays a wrong note.

8

A Thousand Ways

Omaha • 1939–1942

The first few cents Warren Buffett ever earned came from selling packs of chewing gum. And from the day he started selling—at six years of age—he showed an unyielding attitude toward his customers that revealed much about his later style.

"I had this little green tray, which had five different areas in it. I'm pretty sure my aunt Edie gave me that.

It had containers for five different brands of gum, Juicy Fruit, Spearmint, Doublemint, and so on. I would buy packs of gum from my grandfather and go around door to door in the neighborhood selling this stuff. I used to do that in the evening, largely.[1]

"I remember a woman named Virginia Macoubrie saying, 'I'll take one stick of Juicy Fruit.' I said, 'We don't break up packs of gum'—I mean, I've got my principles. I still, to this day, remember Mrs. Macoubrie saying she wanted one stick. No, they were sold only in five-stick packs. They were a nickel, and she wanted to spend a penny with me."

Making a sale was tempting, but not tempting enough to change his mind. If he sold one stick to Virginia Macoubrie, he would have four sticks left to sell to somebody else, not worth the work or the risk. From each whole pack, he made two cents profit. He could hold those pennies, weighty and solid, in his palm. They became the first few snowflakes in a snowball of money to come.

What Warren *was* willing to break up were red cartons of Coca-Cola, which he sold door to door on summer nights. He carried on selling them during family vacations, approaching sunbathers around the shores of Lake Okoboji in Iowa. Soda pop was more profitable than chewing gum: He netted a nickel for every six bottles, and stuffed these coins proudly into the ball-park-style nickel-plated money changer on his belt. He also wore it when he went door to door selling copies of the *Saturday Evening Post* and *Liberty* magazines.

The money changer made him feel professional. It emblemized the part of selling that Warren most enjoyed: collecting. Although he now collected bottle caps, coins, and stamps, mainly, he collected cash. He kept his coins at home in a drawer, sometimes adding to the $20 his father had given him when he turned six, all recorded in a little maroon passbook—his first bank account.

By the time he was nine or ten, he and Stu Erickson were selling used golf balls at Elmwood Park golf course—until somebody reported them and they got kicked out by the cops. When the police talked to Warren's parents, however, Howard and Leila weren't concerned. They just considered their son ambitious. As the Buffetts' only—and precocious—son, Warren had a sort of "halo," according to his sisters, and got away with a hell of a lot.[2]

At age ten, he got a job selling peanuts and popcorn at the University of Omaha football games. He walked through the stands yelling, "Peanuts, popcorn, five cents, a nickel, half dime, fifth of a quarter, get your peanuts and popcorn here!" The 1940 presidential election campaign was under way, and he had collected dozens of different Willkie–McNary buttons, which he wore on his shirt. His favorite read: "Washington Wouldn't, Cleveland Couldn't, Roosevelt Shouldn't," which referred to FDR's outrageous—to the Buffetts—decision to run for a third term. While the U.S. had no constitutional term limit, the country had—so far—rebuffed the idea of an "imperial President."[3] Howard felt that FDR was a despot who had grandstanded his way to popularity. The idea of four more years of FDR nearly choked him.

Though he found Wendell Willkie too liberal for his personal tastes, Howard felt, Anyone to get rid of Roosevelt. Warren, who followed along with his father's political views, enjoyed showing off his Willkie–McNary buttons at the stadium. Then his manager called him into the office and said, "Take those off. You'll get a reaction from the Roosevelt people."

Warren put the buttons in his apron, where some of the dimes and nickels got wedged inside the backs of the pins. When he reported in after the game, his manager told him to dump out the contents of the pocket, pins and all. Then he swept them off the counter and took them away. *"That was my introduction to Business 101,"* Buffett says. *"I was pretty sad."* And when Roosevelt won an unprecedented third term, the Buffetts were sadder still.

But while politics was Howard's main interest and money a sideline, for his son, those interests were reversed. Warren hung around his father's office at the grand old Omaha National Bank building every chance he got, reading "The Trader" column in *Barron's* and the books on his father's bookshelf. He planted himself in the customers' room of Harris Upham & Co. At this regional stockbroking firm, down two flights

of stairs from Howard's office, he found it the height of glamour to be allowed to "mark the board," chalking stock prices on a slow Depression-era Saturday morning. The market still traded for a two-hour session on weekends. Root-bound men with nothing better to do filled the semi-circle of chairs in the customers' room, listlessly watching numbers crawl by on the Trans-Lux, an electronic display of prices of major stocks.[4] Occasionally somebody would jump up and rip a handful of tape off the lazily clicking ticker machine. Warren arrived with his paternal great-uncle Frank Buffett—the family misanthrope who had been brokenhearted over losing Henrietta, now long dead, to his brother Ernest—and his maternal great-uncle John Barber.[5] Each man was enslaved by his long-standing habit of thinking in only one direction.

"Uncle Frank was a total bear on the world, and Uncle John was a total bull. I would sit between the two of them, and they'd sort of vie for my attention and try to sell me that they were right. They didn't like each other, so they wouldn't talk to each other, but they would talk to me in between. My great-uncle Frank thought everything in the world was going to go broke.

"And when somebody'd go up there to the counter behind the chairs and say, 'I want to buy a hundred shares of U.S. Steel at twenty-three,' my uncle Frank would always boom out and say, 'U.S. STEEL? IT'S GOING TO ZERO!'" That was not good for business. *"They couldn't throw him out, but they hated him around this place. It was not an office designed for short-sellers."*

Snug between his two great-uncles, Warren stared at the numbers, which were fuzzy. His trouble reading the Trans-Lux led to his family's discovery that he was nearsighted. After being fitted for glasses, Warren noticed that the numbers seemed to change according to some immutable law of their own. Although his great-uncles were both eager to sway him to their respective—and extreme—points of view, Warren noticed that their opinions appeared to have no connection whatsoever to the numbers passing overhead on the Trans-Lux. He was determined to figure out the pattern, but as yet did not know how.

"My uncle Frank and my uncle John would vie for who would take me to lunch, because that was sort of beating the other guy. With my uncle Frank, we'd go down to the old Paxton Hotel, where we could buy day-old food for a quarter."

Warren, who enjoyed spending time with adults, relished being vied over by his uncles. Actually, he enjoyed being vied over by anyone. He craved attention from his other relatives and his parents' friends, but especially from his father.

Howard gave each of his children an East Coast trip at age ten, an important event in their lives. Warren knew exactly what he wanted to do: *"I told my dad I wanted to see three things. I wanted to see the Scott Stamp and Coin Company. I wanted to see the Lionel Train Company. I wanted to see the New York Stock Exchange. Scott Stamp and Coin was at Forty-seventh Street, Lionel was down around Twenty-seventh, and the Stock Exchange was all the way downtown."*

Wall Street in 1940 had begun to revive from the crash, yet remained a chastened place. The men of Wall Street were like a band of hardy mercenaries fighting on after most of their comrades had been felled in war. The way they made a living seemed vaguely disreputable with memories of the 1929 Crash so fresh in people's minds. Yet even though they did not brag about it outside the bunker walls, some of these mercenaries were doing very well indeed. Howard Buffett took his son down to lower Manhattan and dropped in on the top man at one of the largest brokerage firms. Little Warren Buffett was getting a peek inside the bunker's gold-plated doors.

"That's when I met Sidney Weinberg, who was the most famous man on Wall Street. My dad had never met him. He had this little tiny firm out here in Omaha. But Mr. Weinberg let us in, maybe because a little kid was along or something. We talked for about thirty minutes."

As the senior partner of the investment bank Goldman Sachs, Weinberg had spent a decade painstakingly repairing the firm's reputation after its disgrace for misleading investors with a notorious pyramid scheme in the market crash of 1929.[6] Warren knew nothing about that, nor that Weinberg grew up an immigrant's child

and had started as a porter's assistant at Goldman, emptying cuspidors and brushing the partners' silk hats.[7] But he certainly understood that he was in the presence of a big shot once he found himself in Sidney Weinberg's walnut-paneled office, its walls hung with original letters, documents, and portraits of Abraham Lincoln. And what Weinberg did at the end of their visit made a huge impression on him. *"As I went out, he put his arm around me and he said, 'What stock do you like, Warren?'*

"He'd forgotten it all the next day, but I remembered it forever."

Buffett would never forget that Weinberg, a big shot on Wall Street, had paid such attention to him and seemed to care about his opinion.[8]

From Goldman Sachs, Howard took Warren over to Broad Street and through a set of enormous Corinthian columns into the New York Stock Exchange. Here, in the temple of money, men in brightly colored jackets shouted and scribbled standing around wrought-iron trading posts while clerks darted back and forth, strewing the floor with paper scraps. Yet it was a scene from the Stock Exchange dining room that captured Warren's imagination.

"We had lunch at the Exchange with a fellow named At Mol, a Dutchman, a member of the Stock Exchange and a very impressive-looking man. After lunch, a guy came along with a tray that had all these different kinds of tobacco leaves on it. He made up a cigar for Mr. Mol, who picked out the leaves that he wanted. And I thought, This is it. It doesn't get any better than this. A custom-made cigar."

A custom-made cigar. The visions that cigar evoked in Warren's mathematical mind! He had exactly zero interest in *smoking* a cigar. But working backward, he saw what hiring a man for such a frivolous purpose implied. To justify the expense must mean that, even while most of the country was still mired in the Depression, the cigar man's employer was making a great deal of money. He grasped it right away. The Stock Exchange must pour forth streams of money: rivers, fountains, cascades, torrents of money, enough to hire a man for the pure frippery of rolling cigars—handmade, custom-made cigars—for the Stock Exchange members' own particular pleasure.

That day, as he beheld the cigar man, a vision of his future was planted.

He kept that vision when he went back to Omaha, old enough now to organize his quest and pursue it all the more systematically. Even as he followed the pastimes of an ordinary boy, playing basketball and Ping-Pong and collecting coins and stamps; even as his family mourned his small, sweet grandfather, John Stahl, who died that year at age seventy-three—the first loss in his life—he worked with a passion for the future he saw ahead of him, right there in sight. He wanted money.

"It could make me independent. Then I could do what I wanted to do with my life. And the biggest thing I wanted to do was work for myself. I didn't want other people directing me. The idea of doing what I wanted to do every day was important to me."

A tool that would help him soon fell into his hands. One day, down at the Benson Library, a book beckoned from the shelves. Its shiny silver cover gleamed like a heap of coins, hinting at the value of its contents. Captivated by the title, he opened it and was immediately hooked. *One Thousand Ways to Make $1,000,* it was called. A million dollars, in other words!

Inside the cover, in a photograph, a tiny man gazed up at an enormous pile of coins.

"Opportunity Knocks," read the first page of the text. "Never in the history of the United States has the time been so favorable for a man with small capital to start his own business as it is today."

What a message! "We have all heard a great deal about the opportunities of bygone years…. Why, the opportunities of yesterday are as nothing compared with the opportunities that await the courageous, resourceful man of today! There are fortunes to be made that will make those of Astor and Rockefeller seem picayune." These words rose like sweet visions of heaven to Warren Buffett's eyes. He turned the pages

faster.

"But," the book cautioned, "you cannot possibly succeed *until you start*. The way to begin making money is to begin…. Hundreds of thousands of people in this country who would like to make a lot of money are not making it because they are waiting for this, that, or the other to happen." Begin it! the book admonished, and explained how. Crammed with practical business advice and ideas for making money, *One Thousand Ways to Make $1,000* started with "the story of money" and was written in a straightforward, friendly style, like someone sitting on the front stoop talking to a friend. Some of its ideas were limited—goat-dairying and running doll hospitals—but many were more practical. The idea that captivated Warren was pennyweight scales. If he had a weighing machine, he would weigh himself fifty times a day. He was sure that other people would pay money to do that too.

"The weighing machine was easy to understand. I'd buy a weighing machine and use the profits to buy more weighing machines. Pretty soon I'd have twenty weighing machines, and everybody would weigh themselves fifty times a day. I thought—that's where the money is.[9] *The compounding of it—what could be better than that?"*

This concept—compounding—struck him as critically important. The book said he could make a thousand dollars. If he started with a thousand dollars and grew it ten percent a year:

In five years, $1,000 became more than $1,600.
In ten years, it became almost $2,600.
In twenty-five years, it became more than $10,800.

The way that numbers exploded as they grew at a constant rate over time was how a small sum could turn into a fortune. He could picture the numbers compounding as vividly as the way a snowball grew when he rolled it across the lawn. Warren began to think about time in a different way. Compounding married the present to the future. If a dollar today was going to be worth ten some years from now, then in his mind the two were the same.

Sitting on the stoop at his friend Stu Erickson's, Warren announced that he would be a millionaire by the time he reached age thirty-five.[10] That was an audacious, almost silly-sounding statement for a child to make in the depressed world of 1941. But his calculations—and the book—said it was possible. He had twenty-five years, and he needed more money. Still, he was sure he could do it. The more money he collected early on, the longer the money could compound, and the better his chances of achieving his goal.

* * *

A year later, he brought forth the kernel of his reality. To his family's amusement and surprise, by the spring of 1942, his hoard totaled $120.

Enlisting his sister Doris as a partner, he bought three shares of a stock for each of them, costing him $114.75 for his three shares of Cities Service Preferred.[11]

"I didn't understand that stock very well when I bought it," he says; he knew only that it was a favorite stock that Howard had sold to his customers for years.[12]

The market hit a low that June, and Cities Service Preferred plunged from $38.25 to $27 a share. Doris, he says, "reminded" him every day on the way to school that her stock was going down. Warren says he felt terribly responsible. So when the stock finally recovered, he sold at $40, netting a $5 profit for the two of them. "That's when I knew that he knew what he was doing," Doris recalls. But Cities Service quickly soared to $202 a share. Warren learned three lessons and would call this episode one of the most important of his life. One lesson was not to overly fixate on what he had paid for a stock. The second was not to rush

unthinkingly to grab a small profit. He learned these two lessons by brooding over the $492 he would have made had he been more patient. It had taken five years of work, since he was six years old, to save the $120 to buy this stock. Based on how much he currently made from selling golf balls or peddling popcorn and peanuts at the ballpark, he realized that it could take years to earn back the profit he had "lost." He would never, never, never forget this mistake.

And there was a third lesson, which was about investing other people's money. If he made a mistake, it might get somebody upset at him. So he didn't want to have responsibility for anyone else's money unless he was sure he could succeed.

9

Inky Fingers

Omaha and Washington, D.C. • 1941–1944

One December Sunday afternoon when Warren was eleven, the Buffetts were driving back from a visit to West Point after church. As they listened to the radio in the car, the announcer broke in to say that the Japanese had struck Pearl Harbor. Nobody explained exactly what had happened or how many were killed or injured, but from the commotion Warren quickly realized that the world was going to change.

His father's already reactionary political views quickly turned even more extreme. Howard and his friends considered Roosevelt a warmonger who lusted after dictatorship and was trying to achieve it by luring America into yet another European war. They felt that Europe, a continent unable to settle its own petty bickerings before these turned into mortal disputes, must be allowed to burn in its own tinderbox.

Until now, Roosevelt's blandishments had not worked. Neither "international cooperation"—the wickedly deceitful Lend-Lease program, which Howard considered "Operation Rat Hole," [1] an outright gift of war supplies to England, neither a loan nor a lease—nor giving speeches alongside that portly, popular Englishman Winston Churchill, had drawn America into the war. Roosevelt had told the country—lying through his teeth, they agreed—"To you mothers and fathers, I give you one more assurance…. Your boys are not going to be sent into any foreign wars."[2] Howard now came to believe that in a desperate gamble, Roosevelt and his army's chief of staff, General George C. Marshall, had decided that *"the only way to get us into the European war was to get the Japanese to attack us,"* says Warren, *"and not tip off the people at Pearl Harbor."* This belief was common among conservatives at the time, although Howard, as in most things, was strikingly firm in his convictions.

The following spring, the Nebraska Republican Party tapped Howard with the awkward job of finding a candidate to run for Congress against a popular incumbent, Charles F. McLaughlin. At the last minute, according to family lore, Howard entered his own name on the ballot, unable to find another sacrificial lamb willing to run against a heavily favored Democrat.

He found himself thrust into the role of campaigner. The Buffetts plastered simple flyers saying "Buffett for Congress" on telephone poles. They went to county fairs, where Howard and Leila handed out cards amid the livestock displays and entries in the best pickle competition. *"He was the most unlikely candidate. He hated to speak in public. My mother was a good campaigner, but my dad was introverted."* Leila, a talker, instinctively knew how to work a crowd and enjoyed approaching people. The kids circulated, saying, "Would you vote for my daddy?" Afterward they got to ride on the Ferris wheel.

"Then we made this little fifteen-minute radio program. My mother played the organ; my father introduced us: 'There's Doris, age fourteen. And there's Warren, age eleven.' And my line was 'Just a second, Pop, I'm

reading the sports section.' Then, the three of us sang 'America the Beautiful' while my mother played this little organ."

It was no stemwinder, but *"With that fifteen-minute radio program, everybody started volunteering. Still, the other guy had been in for four terms."*

Even with the help of volunteers, Howard struggled against the political handicaps of his pessimism and his literal honesty. Thus, the Buffett political platform bulged with dire warnings and bristled at the mindless social conformity observable everywhere in the 1940s Midwest. Howard demanded that voters "buy one-way tickets out of Washington for all of the screwballs, stuffed shirts, stool pigeons, sleepwalkers, and society snobs."

This fire-breathing rhetoric belied a sweetness in him, a subtle wit, and a certain innocence. For years, Howard had carried in his pocket a handwritten piece of paper, softened and worn to the texture of linen, which said, "I am God's child. I am in His Hands. As for my body—it was never meant to be permanent. As for my soul—it is immortal. Why, then, should I be afraid of anything?"[3]

Unfortunately for his only son, when it came to the streets of Omaha, Howard meant this almost literally.

When campaigning, he would roust Warren, now twelve years old, out of bed long before dawn, to head down to the stockyards in South Omaha. Along with the railroads, these were Omaha's main business, employing almost twenty thousand people, mostly immigrants. More than eight million animals a year[4] lumbered into a metropolis of meat and rolled out as billions of pounds of packaged goods.[5] South Omaha once was a separate city, a short distance from downtown geographically but culturally a continent away. For decades it had served as the brewing ground for most of the city's ethnic and racial unrest.

Warren planted his sneakers at one end of the block, hands clenched and eyes fixed anxiously on his father. Howard limped from a childhood bout with polio, and the family worried about his heart condition. Warren's stomach churned as he watched his father down the street, approaching huge, cleaver-faced men in overalls on their way into the packinghouses for the five-thirty a.m. shift.

Many of them did not speak English at home. The least well off, the blacks and new immigrants, lived crammed into a buffer zone of boardinghouses and shanties next to the yards. Those with greater savvy and more means had worked their way out into the ethnic parishes nearby, living in neat small houses with steeply pitched roofs that rolled up and down South Omaha's hills: Czechs in Little Bohemia, Serbs and Croats in Goose Hollow, the Poles in G Town (the former Greek Town); the Greeks were long gone, their homes destroyed in a 1909 anti-immigrant riot.

The people whom Howard approached ranged from the top rank of workers, the specialized butchers from the killing gang who worked on the highest floor of the slaughterhouse, to those on the lower floors, in the boneyard, the lard department, and the fertilizing department. A handful of women trimmed pork, twisted wieners, painted and labeled cans, plucked chickens, and sorted eggs. Management especially prized black women, who could be counted on to fill offal room jobs, and for less pay than whites.[6] They cleaned the "pluck"—intestines, bladder, hearts, glands, and other organs—their hands immersed in water and waste, sorting, salting, and packing intestines for casings in a hell of heat and ankle-deep bloody water. They panted shallowly with open mouths to keep airborne particles of excrement out of the deeper parts of their lungs.[7] Even the newest and lowliest immigrant or black man would not set foot in the offal room. That was strictly black women's work.

Men and women, black and white, these people were Democrats in every fiber of their being. The rest of Nebraska might be turning against the New Deal, the President's cure for the Great Depression, but Franklin Delano Roosevelt was still a hero in this part of town. Yet the leaflets that Howard Buffett politely pressed into their callused hands shrieked that FDR was the greatest danger to democracy that America had ever known. If given a moment to speak, he would calmly explain why, as their Congressman, he would always vote to enact laws that the stockyard workers would oppose.

Howard was a zealot, but he was neither stupid nor crazy. Even though he placed his trust in God's hands, he had a backup plan. Warren had not come for an education, nor to tag-team his father in a fight. His job was to run like hell for the cops if the stockyard workers started beating up his father.

Under the circumstances, a reasonable person might ask what Howard was doing there at all. His efforts might not be repaid by a single vote. But apparently he felt an obligation to appear before every potential voter in his district, however little of him they cared to see.

Warren always managed to return home intact; he never had to run for the cops. That may have been just luck or it may have been Howard's demeanor, which conveyed his basic decency. Still, the Buffetts had no reason to believe the voters saw that, nor that if they did, it would overcome his underdog status. On election day, November 3, 1942, Doris, convinced that her father had lost, went downtown and bought herself a new pin to wear to school the next day so she would have something to look forward to. *"My dad wrote out his concession statement. We all went to bed at eight-thirty or nine o'clock, because we never stayed up late. And he woke up the next morning to find out he'd won."*

Howard's deep suspicion of foreign adventures was more than a quirk of his own Quaker-like personality. It reflected a reservoir of conservative isolationism, which had once run deep and wide through the Midwest. Although that stream was drying up, Pearl Harbor had revived it for a little while. Despite Roosevelt's overwhelming popularity, labor's support for his foreign policies had wavered temporarily in Omaha, just long enough to get Howard elected against an opponent who had been, perhaps, overconfident.

* * *

The following January, the Buffetts rented out their house in Dundee and boarded a train to Virginia. Ernest handed them a hamper of beautifully packaged food along with instructions not to stray into any other cars, lest they pick up dread diseases from traveling servicemen.

They arrived at Washington's Union Station to find a provincial city grown packed and chaotic. Great crowds of people filled the town, most of them working at vast new wartime government agencies. The military had commandeered every building, office, chair, and pencil within reach in the effort to get itself organized in the newly finished Pentagon, the world's largest office building, which was outgrown by the time it was completed. By now, flimsy temporary office buildings lined every inch of the Mall.[8]

Hordes of new arrivals had doubled the population. A ragged army of black men and women streamed across the 14th Street Bridge from Virginia, fleeing the tobacco farms, cotton fields, and textile mills of the poverty-stricken South, lured by the prospect of any job at all in the busiest city in the world. Following in the dust of the respectable, impoverished, and naive came pickpockets, prostitutes, grifters, and drifters, turning Washington into the nation's crime capital.

Rickety nineteenth-century wooden trolleys packed with government workers crept their way along impassable streets. At any of the trolley stops, local residents might be picketing against Capital Transit, which had refused to hire blacks.[9] Still, the logjam of segregation was slowly starting to break. At Little Palace cafeteria on the black side of town, Howard University students were staging a series of "lunch counter sit-ins," challenging the restaurant's policy of refusing them service by simply occupying all available tables and refusing to leave, effectively shutting the place down.[10]

The Buffetts had friends, the Reichels[11]—acquaintances of Howard's from his stockbroking days—who told them, don't live in Washington, it's terrible. They knew of an enormous house in Virginia that someone in the Marines had just vacated. It sat on a hill above the Rappahannock River, next door to Chatham, headquarters of the Union Army in the battle of Fredericksburg. The house had ten fireplaces, formal gardens, cutting gardens, and a greenhouse. Although its grandeur was far above the Buffetts' style, and it was located almost

an hour from the city, they leased it temporarily. Howard rented a tiny apartment in the District of Columbia and commuted on the weekends. His time filled quickly as the Nebraska delegation assigned him to the financial committees, and he started fitting in and learning the rules and procedures and unwritten customs of serving as a Congressman.

Leila soon began riding into Washington to look for a permanent place to live. She had been unusually irritable since their arrival and often spoke longingly of Omaha. The timing of the move had turned out to be inauspicious. Her sister Bernice had just insinuated that she would commit suicide, saying that she would not be responsible for what happened unless the family committed her to the Norfolk State Hospital, where their mother, Stella, was also housed. Edie, now in charge of her sister's care, consulted with a doctor. They thought that Bernice wanted to live with her mother and was conceivably using melodramatic means to get her way. Nevertheless, they clearly had to take the suicide threat seriously, and the family sent her off to Norfolk.

The details of the Stahl family's problems were rarely discussed in front of the children. Each adapted to Washington in his or her own way. Beautiful fifteen-year-old Doris felt like Dorothy, who had just left black-and-white Kansas and stepped into the Technicolor land of Oz. Her life was transformed. She became the belle of Fredericksburg and fell in love with the town.[12] Leila began to treat her daughter as a social climber who had pretensions above her station, and still launched the occasional tirade against her. But by now, Doris's spirit resisted her mother's constraints, and she had begun to fight for her own identity.

Meanwhile, Warren, twelve years old, spent the first six weeks in an eighth-grade class that was *"way behind"* where he had been academically in Omaha. Naturally, his first instinct was to get a job, working at a bakery where he *"did damned near nothing. I wasn't baking and I wasn't selling."* At home, furious and miserable at being uprooted, he wanted to be sent back to Omaha and reported a mysterious "allergy" that disturbed his sleep. He claimed that he had to sleep standing up. *"I wrote my grandfather these pathetic letters, too, and he sort of said, 'You've got to send that boy back. You know, you're destroying my grandson.'"* Succumbing, the Buffetts put Warren on a train back to Nebraska for a few months' stay. To his delight, his companion on the train was Nebraska Senator Hugh Butler. He had always gotten along well with older people and chatted easily with Butler, in his precocious manner, all the way back to Omaha, his "allergy" forgotten.

Bertie, nine years old, felt close to her grandfather and thought she had a special bond with him. She was jealous. Trusting in her relationship with Ernest, she wrote him: "Don't tell my parents, but send for me too."

"When Bertie wrote the same kind of letters, I said, 'Don't pay any attention. She's a fake.'"[13]

Ernest wrote back, "A girl should be with her mother." Bertie sat in Fredericksburg, fuming that her brother always seemed to get his way.[14]

Warren returned to Rosehill School and reunited with his friends. Every day he showed up around noontime at the house of his father's former partner, Carl Falk, whose wife, Gladys, served him sandwiches and tomato soup and kindness for lunch. He "worshipped" Mrs. Falk[15] as if she were a surrogate mother, just as he had done with his friend Jack Frost's mother, Hazel, and with his aunts.

Though Warren was comfortable with all these middle-aged women, he was shy, hopelessly shy, and girls his own age terrified him. Even so, he soon developed a crush on Dorothy Hume, one of the girls in his new eighth-grade class. His friend Stu Erickson had a similar crush on Margie Lee Canady, and his other friend Byron Swanson had a crush on Joan Fugate. After weeks of talk, they worked themselves up to ask the girls to go to the movies.[16] But when Warren walked over to Dorothy's house to invite her, he chickened out when her father answered the door. Warren tried to sell him a magazine subscription instead. Finally, however, he managed to ask Dorothy, and she said yes.

On the appointed Saturday, Byron and Warren went together to pick up their dates because they were afraid to show up alone. Thus the afternoon started with a lengthy trudge from house to house to the streetcar stop,

walking for blocks in uncomfortable silence. Margie Lee, who lived in the opposite direction, arrived at the stop with Stu and they all boarded the streetcar, where the boys stared red-faced at their shoes throughout the trip downtown as the girls chatted easily with one another. When they reached the theater, Margie Lee, Dorothy, and Joan strolled directly to a row of seats and sat down next to each other. The boys' plan to cuddle up with the girls during two horror films, *The Mummy's Tomb* and *Cat People,* instantly fell apart. Instead, they sat in their own group and watched the girls' brunette heads huddled together as they giggled and shrieked through the weekly serials, the cartoons, and both movies. After a painful trip to Walgreen's for after-movie treats, the boys retraced their trip on the streetcar in a dazed little group and began the long march to the girls' houses before being dismissed by their dates. They had barely spoken a word the entire afternoon.[17] All three were so mortified that it took each of them years thereafter to summon the courage to ask another girl out on a date.[18]

But while Warren lost heart, he did not lose interest; he next developed a crush on another girl in his class, Clo-Ann Kaul, a striking blonde. Yet she was not interested in him either; he seemed unable to make any headway at all with girls. His way of diverting himself from disappointment was, again, making money.

"My grandfather liked the idea that I was always thinking of ways to make money. I used to go around the neighborhood collecting wastepaper and magazines to sell for scrap. My aunt Alice would take me down to the collection drop-off, where you could get thirty-five cents for a hundred pounds, or something like that."

At Ernest's house, Warren read a shelf full of back issues of the *Progressive Grocer.* Subjects like "how to stock a meat department" fascinated him. On the weekends, Ernest put him to work at Buffett & Son, the empire over which he presided. About the size of a two-story garage, it had a Spanish-style tile roof that stood out in the pleasant upper-middle-class suburb of Dundee. The Buffetts had always sold on "credit and delivery." Ladies or their cooks would ring up Walnut 0761 on the telephone and read their lists to clerks who took down their orders.[19] Clerks rushed around the store, scrambling up and down a rolling wooden ladder that flew back and forth along the shelves, retrieving boxes, bags, and cans, and filling their baskets from the pyramids of vegetables and fruit. To cut a hand of bananas, they took down the wicked sharp knife next to a four-foot bunch of bananas that hung from a hook by the back door. They ran down to the basement to fill orders for sauerkraut and pickles that lay cooling in barrels near crates of eggs and other perishables. All the goods went into baskets, which the clerks on the mezzanine raised on a pulley, priced and packaged, and sent back downstairs. Then the orange Buffett & Son delivery trucks with rolled-up rubber or leather panels on the side drove the packages off to Omaha's waiting housewives.

Ernest sat at a desk on the mezzanine and glared down at the clerks. Behind his back, the employees called him Old Man Ernie. *"He didn't do a damn thing. He just gave orders,"* says Warren. *"I mean, he was king. He could see everything. And if a customer walked in who wasn't waited on like that…"* Snap of the fingers and woe to the clerks. He believed in *"work, work, plenty of work."* Ernest felt so responsible for making sure that no one in his charge had foolish notions about there being any free lunch in this world that he had once made a lowly stock boy bring two pennies to work to pay his Social Security tax in cash. This handover had been accompanied by a half-hour lecture on the evils of socialism, so that said stock boy would fully understand how that devil Roosevelt and the tweedy, pipe-smoking Ivy League professors he had brought into the government were ruining the country.[20]

The only time Ernest left the mezzanine was the minute he saw an important woman drive up with her chauffeur. He would tear down the stairs, grab an order slip, and wait on her himself, showing her the new "alligator pears"—avocados—just flown in from Hawaii and handing peppermint sticks to her children.[21] In the face of all this attention to rank, when her brother-in-law Fred once stopped waiting on Leila in order to attend to another customer, she stalked out in a huff and never shopped at the store again.[22] Howard bought the groceries from then on.

Warren now felt like one of these clerks, hustling around the store under Old Man Ernie's thumb. Working in his grandfather's store, he came as close to being a slave as he ever would be in his life.

"He had me do a lot of little lesser jobs. Sometimes I was on the floor. Sometimes he had me counting

wartime rationing stamps—sugar stamps, coffee stamps, sitting up on the mezzanine with him. And sometimes I was hiding where he couldn't see me.

"The worst job was when he hired me and my friend John Pescal to shovel snow. We had this huge snowstorm, a foot of superwet snow. We had to shovel out the whole bank of snow, in front where the customers parked and in the alleyway behind the store, in the loading dock, and by the garage where we had the six trucks.

"We worked at this for about five hours—shoveling, shoveling, shoveling, shoveling. Eventually, we couldn't even straighten our hands. And then we went to my grandfather. He said, 'Well, how much should I pay you boys? A dime's too little and a dollar's too much!'

"I'll never forget—John and I looked at each other…."

That worked out to—at most—twenty cents an hour for shoveling snow.

"Oh no! This was the amount we were supposed to split. That was my grandfather…."

Well, a Buffett was a Buffett, but Warren had learned a valuable lesson: Know what the deal is in advance.[23]

Ernest had two other Buffett traits: an impulsive streak with women and an obsession with perfection. He had entered into two short-lived marriages after Henrietta died, once coming back from a vacation in California newly wed to a woman he had just met. His perfectionism, however, expressed itself at work. Buffett & Son was a direct descendant of the oldest grocery store in Omaha and Ernest's demanding ways were all in pursuit of an ideal vision of service to his customers. He felt certain the discount national chain stores that were encroaching on the neighborhoods were a fad that would disappear because they could never provide a comparable level of service. Sometime during this period, he wrote confidently to one of his relatives: "The day of the chain store is over."[24]

When Buffett & Son ran out of bread, rather than disappoint his customers, Ernest sent Warren trotting down the street to the nearby Hinky Dinky supermarket to buy bread at retail. Warren did not enjoy this errand because he was quickly recognized once inside. "*Hellooooooo,* Mr. Buffett!" the clerks would call out to him, loud enough for everyone to hear, as he slunk through the store, "trying to look inconspicuous," weighed down with armfuls of loaves. Ernest resented the Hinky Dinky, which, like Sommers, his other major competitor in Dundee, was run by a Jewish family. It rankled him to pay good money to a competitor, much less somebody Jewish. Like much of America before mid-century, Omaha practiced de facto segregation by both religion and race. Jews and Christians (and even Catholics and Protestants) lived essentially separate lives, with social clubs, civic groups, and many businesses refusing to accept Jews as members or hire them as employees. Ernest and Howard used the code name "Eskimos" to make offensive remarks about Jews when they were out in public. Since anti-Semitism was so much a matter of course in society at the time, Warren never gave their attitudes a thought.

Ernest, in fact, was an authority figure to Warren, and he only escaped that authority when he was at school, and for a few hours every Saturday when his grandfather put him to work on the delivery truck. Unloading groceries from the truck was exhausting work, and Warren started to figure out how much he disliked manual labor.

"There was this driver, Eddie, that I thought was a hundred years old. He was probably about sixty-five, although he had driven a mule truck back when Buffett & Son delivered that way.

"He had the craziest delivery system that involved going first to Benson, then about five miles back to Dundee to drop somebody's groceries off, then back to Benson. All this during wartime gas rationing. Finally I asked why, and he gave me this disgusted look and said, 'If it's early enough, we may catch her when she's undressed.'" Warren at first had no idea what this cryptic phrase meant. *"He took the groceries up to the house personally in the mornings while I carried twenty-four-bottle boxes of empty soda bottles that were being returned to the store. Eddie would be there ogling Mrs. Kaul, the best-looking customer,*

trying to catch her undressed." Mrs. Kaul was Clo-Ann Kaul's mother, and while Warren was hauling empty soda bottles, Clo-Ann was ignoring him. *"I may have been the lowest-paid person to ever work in the grocery business. I didn't learn anything—except that I didn't like hard work."*

Warren took his battle for autonomy home to Ernest's Sunday dinner table. He had despised everything green from birth, except money. Now, broccoli, Brussels sprouts, and asparagus lined Warren's plate like foot soldiers in a battle of wills. With his parents, he had generally gotten his way. Ernest, however, brooked no nonsense. While Alice tried coaxing her nephew, his grandfather glared from his seat at one end of the table, waiting, waiting, waiting for Warren to finish his vegetables. *"You sat at the table for two hours to finish your asparagus, but he always won in the end."*

In most other ways, however, being at Ernest's brought Warren a large measure of freedom. In his grandfather's garage, he had spotted Doris's blue Schwinn bicycle with her initials on it—a gift from Ernest, left behind when they went to Washington. Warren had never owned a bicycle. *"A bicycle was a pretty big present in those days, you know,"* he says. He started riding Doris's. After a while he traded it in, using it as most of the down payment on a boy's bike.[25] Nobody said anything. Warren had that "halo."

His grandfather doted on him, in his way. At night he and Ernest listened with "reverential attention" to Ernest's favorite radio host, Fulton Lewis Jr., who expounded constantly on the theme that America should not get involved in foreign wars. Ernest needed no convincing.

After Fulton Lewis Jr. recharged his conservative energies, Ernest would gather his latest thoughts on the best seller he was writing. He had decided to call it *How to Run a Grocery Store and a Few Things I Learned about Fishing,* feeling these were *"the only two subjects about which mankind had any valid concern.*[26]

"I would sit there at night, or late afternoon, early evening, and my grandfather would dictate this to me. I'd write it on the back of old ledger sheets because we never wasted anything at Buffett and Son. He thought that it was the book all America was waiting for. I mean, there wasn't any sense writing another book. Not Gone with the Wind or anything like that. Why would anybody want to read Gone with the Wind when they could be reading How to Run a Grocery Store and a Few Things I Learned about Fishing?"[27]

Warren loved it all, or almost all. He was so glad to be back in Omaha and reunited with his aunt, grandfather, and friends that he almost forgot about Washington for a while.

A few months later, the rest of the family made the three-day drive to Nebraska for the summer and moved into a rented house. Their finances were becoming stretched. Heretofore, the stockyards had simply been the home of some of Howard's constituents. But when their reek drifted through town every time the wind blew from the south, everybody in Omaha knew—that was the smell of money. Howard now bought the South Omaha Feed Company to supplement his Congressional salary. And Warren went to work for his father.

"South Omaha Feed was a huge warehouse that seemed hundreds of feet long and had no air-conditioning. My job was to carry fifty-pound sacks of animal feed from a freight car into the warehouse. You can't imagine how big a freight car looks when you get inside and it is packed to the top. And a freight car in the summer, that is really something. There was a guy named Frankie Zick who was tossing these things around. He was a weight lifter. I had on a short-sleeved shirt because it was so hot, and struggling to sort of get these feed bags into my arms and drag them. By noon my arms were kind of a bloody mess. That job lasted for about three hours. I just walked over to the streetcar and went home. Manual labor is for the birds."

Before the summer ended, the family took a short vacation at Lake Okoboji. As they were leaving, Doris discovered that Warren had traded in her bicycle. But through some miscarriage of family justice, again he suffered no consequences. Indeed, when summer ended and his parents forced Warren, sullen and grim-faced, onto a train headed back to Washington, the new bicycle he had bought for himself with his filched funds went along. Doris was furious. But the theft of her bicycle only marked the beginning of her brother's descent into behavior that would ultimately force his parents to take action.

* * *

Back in Washington, the Buffetts moved into the Fitchous' house, an attractive two-story white colonial with a mimosa tree in the yard in the sophisticated Washington suburb of Spring Valley, right off Massachusetts Avenue. A restricted community[*6] built in 1930 for the "socially and officially prominent," Spring Valley was designed as a little "colony of outstanding personages."[28] The homes ranged from gigantic stone Tudor mansions to white two-story clapboard colonials like the Buffetts' house. Leila had paid $17,500 for it, including some furniture. Warren got the front bedroom. The families on either side had sons, all older than Warren. Across the street lived the Keavneys, and Warren, now thirteen years old, developed a crush on Mrs. Keavney, the nearest motherly middle-aged woman in sight. "I was nuts about her," he says.

The neighborhood had an international feel; it teemed with diplomats. The WAVES,[29] women members of the wartime Navy, were headquartered at the nearby huge Gothic-style campus of American University. The Buffetts began adjusting to wartime life in Washington, a very different place from Omaha. The country had finally become prosperous, the Depression over, but with wartime rationing on, money mattered less and less. Everyday life was measured in points and coupons: 48 blue points a month for canned goods; 64 red points for perishables; coupons for meat, shoes, butter, sugar, gasoline, and stockings. No amount of money would buy meat without coupons; only chicken went unrationed. With butter rationed and scarce, everyone learned to squeeze yellow food coloring into containers of tasteless white oleomargarine. No one could buy a new car, because the carmakers devoted their plants to defense work. To take an automobile trip, you pooled the family's gas coupons. Blowing out a tire could mean serious trouble, since automobile tires were among the most strictly rationed commodities.

Every morning, Howard took the streetcar that ran down Wisconsin Avenue to M Street in Georgetown, then turned down Pennsylvania Avenue. He got off near the old Executive Office Building and went to work in a Washington that heaved and roiled. The government and diplomatic community had ballooned, and the streets were packed with people in kilts and turbans and saris, with armies of clerical workers, and with a sea of uniformed military.

From time to time, black women in Sunday dresses and church hats picketed the Capitol to protest lynchings in the South. Air-raid wardens walked the neighborhoods to check that all houses had opaque blackout curtains. Once or twice a month the Buffetts were required to go down to their basement and turn out all the lights for a mandatory blackout drill.

Leila disliked Washington from the day she arrived. She was homesick for Omaha, and lonely too. Immersed in his new job, Howard had become a more distant husband and father. He worked at the office all day, then read the Congressional Record and legislative materials all evening. He spent Saturdays at the office and often returned there on Sunday afternoons after church.

Doris now attended Woodrow Wilson High School, where again she fell in right away with the popular crowd. Bertie, too, made friends easily, finding a compatible group of girls in the neighborhood. Warren's experience was nothing like his sisters'. He enrolled at Alice Deal Junior High School,[30] which sat atop the highest hill in Washington, overlooking Spring Valley, the black school in the hollow behind it, and the rest of the city below.

The students in his class—many of them diplomats' kids—were a world more polished than Warren and his now-lost friends from Rosehill School. At first, he had difficulty making friends. He went out for basketball and football, but since he wore glasses and was timid in physical contact sports, neither was a success. *"I'd been pulled away from my friends and I wasn't making new friends. I was young for my class. I was not poised at all. I wasn't a terrible athlete, but I wasn't a great athlete in the least, so that was not an entry ticket. And Doris and Bertie were knockouts, so they did fine. A good-looking girl does not have trouble, because the world will adjust to her. So they both fit in better than I did, far better, which was a little*

irritating too."

His grades started out at Cs and Bs and improved to As, except in English. *"Mostly my grades related to how I felt about the teachers. I hated my English teacher, Miss Allwine.*[31] *Music class was also Cs all the way through."* Miss Baum, the music teacher, was the best-looking teacher in the school. Most of the boys had crushes on her, but Warren had real difficulties with Miss Baum, who reported that he needed to improve in cooperation, courtesy, and self-reliance.

"I was the youngest one in the class. I was interested in girls, and I wasn't avoiding them, but I felt I had less poise. The girls were way ahead of me socially. When I left Omaha, nobody in my class was dancing. When I moved to Washington, everybody had been dancing for a year or two. So I never caught up, in effect."

The Buffetts' move when Warren was twelve had deprived him of a crucial experience: Addie Fogg's dancing class. At the American Legion hall in Omaha on Friday nights, Addie Fogg, a short, stout woman of middle age, lined the boys and girls up by height and paired them off, boys in bow ties and girls in stiff petticoats. They practiced the fox trot and box-step waltz. A boy learned how a "gentleman" behaves in public with a young lady, and struggled through elementary small talk to break a painful silence. He felt the touch of a girl's hand, learned to hold her by the waist, and sensed her face close to his own. He tasted for the first time the demands and potential pleasures of leading a partner as they moved in unison. With its many small but shared embarrassments and triumphs, this group rite of passage awakened in its graduates a sense of belonging. To miss it could be profoundly isolating. Already insecure, Warren had been left behind, a child among budding young men.

His classmates noticed he was friendly but seemed shy, especially around girls.[32] He was a year younger than most of them, born in August and having skipped a half grade at Rosehill. *"I was out of whack. I felt very inept with girls at that time, and socially in general. But with older people, I was fine."*

Not long after the family's arrival in Spring Valley, Howard's friend Ed S. Miller—one of those older people—called from Omaha. He wanted to talk to Warren.

"'Warren,' he said, 'I'm in a terrible jam. The board of directors told me to get rid of our Washington, D.C., warehouse. This is a real problem for me. We have hundreds of pounds—cases—of stale cornflakes and cases of Barbecubes dog biscuits. I'm in a real pickle. I'm twelve hundred miles away and you're the only businessman I know in Washington.'

"So he said, 'I know I can count on you. As a matter of fact, I told our warehouse men to deliver these cornflakes and Barbecubes dog biscuits to your house. Whatever you get for them, send me half; you keep the rest.'

"And all of a sudden, these huge trucks come up and fill our garage, fill our basement, everything! Now my dad couldn't get the car in or anything.

"And now I've got these things.

"Well, I just tried to figure out who it would be useful to, you know. And obviously the dog biscuits would be useful to a kennel. The cornflakes were not fit for human consumption anymore, so I figured they might be good for some animal. I sold the cornflakes to some poultry guy. I made probably a hundred bucks for the merchandise.[33] *When I sent the fifty percent to Mr. Miller, he wrote back and said, 'You saved my job.'*

"There were some awfully nice people like that back in Omaha. I always liked to hang around with adults when I was a kid. Always. I would walk over to church or something, and then I would just drop in on people.

"My dad's friends were very nice too. They had this Bible class and various things at the rectory, and they

would come over to the house and play bridge afterward. All these guys were very, very nice to me; they all liked me and called me Warreny. I'd learned Ping-Pong from taking out books from the library and practicing at the Y. They knew I enjoyed playing with them down in the basement, and they'd take me on.

"I had all these things I was doing in Omaha. I had a nice niche there.

"When we moved to Washington, the Ping-Pong table disappeared. It was like my cornet. And the Boy Scouts. I was doing all these different things, but they all ended when we moved.

"So I was mad.

"But I didn't know exactly how to direct that. I just knew I was having a whole lot less fun than I was having before my dad got elected."

After his father took him to watch a couple of sessions of Congress, Warren decided he wanted to become a congressional page, but Howard was not in a position to pull that off. Instead, Warren got a job caddying at the Chevy Chase Club, but once again discovered that physical labor did not suit him. *"My mother sewed towels inside my shirts because I was carrying these heavy bags around. Sometimes the golfers—mainly women golfers—would feel sorry for me and practically carry the things themselves."* He needed a job that better fit his skills and talents.

Almost from birth, like all the Buffetts, Warren had lived and breathed the news. He loved hearing it and now he would enter the business of delivering it and find he loved that too. He got himself hired to throw a paper route, delivering the *Washington Post* and two different routes for the *Times-Herald*. The *Times-Herald* belonged to Cissy Patterson, the autocratic cousin of *Chicago Tribune* publisher Robert McCormick. It catered to the right wing, which hated FDR and kept the President up nights worrying what it would print the next day. Cissy Patterson feuded with Eugene Meyer, a financier who owned the *Washington Post* and supported FDR in every line of his paper's type.

Warren started delivering in Spring Valley, near his home. *"The first year, the houses were far apart, which I was not too keen on. You had to deliver it every day, including Christmas Day. On Christmas morning, the family had to wait until I had done my paper route. When I was sick, my mom delivered the papers, but I handled the money. I had these jars in my room with half dollars and quarters.*[34] Then he added an afternoon route to his workload.

"The Evening Star, which was owned by this blue-blooded Washington family, was the dominant paper in town."

In the afternoons, he rolled down the streets on his bike, grabbing copies of the *Star* to throw from the huge basket on the front. Near the end of the route he had to steel himself. *"On Sedgwick was this terrible dog.*

"I liked to work by myself, where I could spend my time thinking about things I wanted to think about. Washington was upsetting at first, but I was in my own world all the time. I could be sitting in a room thinking, or I could be riding around flinging things and thinking."

The thoughts he was thinking were angry thoughts. He spent his days acting them out at Alice Deal Junior High. Bertie Backus, Alice Deal's principal, prided herself on knowing each pupil by name. She soon had special reason to know Warren Buffett's.

"I was kind of behind when I got there, and then I fell further behind. I was just mad at the world. I did a lot of daydreaming, and I was always charting things—I would bring stock charts to school and just wasn't paying attention to what was going on in class. Then I got to be friends with John McRae and Roger Bell. And I became disruptive."

The pleasing personality of his childhood all but disappeared. In one class, Warren enlisted John McRae to play chess with him while the teacher was talking, just to be obnoxious. In another class, he cut open a golf

ball, which squirted some sort of liquid onto the ceiling.

The boys had started to golf. John McRae's father worked as a greenskeeper at Tregaron, a famous estate close to downtown Washington that belonged to heiress Marjorie Merriweather Post and her husband, Joseph E. Davies, who was ambassador to Russia. The family had dozens of servants and was almost never home, so the boys went over and played on the nine-hole golf course. Then Warren convinced Roger and John to run away with him to Hershey, Pennsylvania, where they were going to try to get jobs caddying at a well-known golf course.[35] *"We hitchhiked. And after we had successfully gone a hundred fifty miles or so, we made it to Hershey and stopped at this hotel and we made the mistake of bragging to the bellboy.*

"The next morning, when we came down, there was this huge highway patrolman waiting for us, who took us down to the highway patrol headquarters.

"We just started lying. And we lied and lied and lied about having our parents' permission. All the while there was this Teletype machine spitting out alerts about this and that. I was sitting there thinking that pretty soon there was going to be an alert from Washington, D.C., and this guy will know we're lying. All I wanted to do was get out of there."

Somehow they lied convincingly enough that the patrolman let them go.[36] *"We started walking toward Gettysburg or someplace. We were having no luck hitchhiking, and then a trucker picked us up and stuffed all three of us into the cab."* They were so scared by then, they only wanted to go home. *"The trucker stopped at a diner in Baltimore and divided us up with other truckers. It was getting dark and we felt like we'd never get out of there alive, but they took us back to Washington, separately. Roger Bell's mother was in the hospital. I mean, she had gone to the hospital over this, which made me feel terrible 'cause I had talked Roger into going. I was on my way to being a four-star delinquent."*

He had made another friend by then, Lou Battistone; but, as in Omaha, he had kept his friendship with Lou separate from his relationship with Roger and John. Meanwhile, Warren was doing worse than ever at school. His grades dropped to Cs and Ds and even D minuses: in English, in history, in freehand drawing, in music, even Cs in mathematics.[37] *"Some of these grades were from the classes where I was supposedly good."* Warren's teachers found him stubborn, rude, and lazy.[38] Some of the teachers gave him double black Xs, for extra bad. His behavior was shocking for the times. In the 1940s, children did what they were told and obeyed their teachers. *"I was going downhill fast. My parents were dying, they were dying."*

He excelled in only one class, and that was typing. Washington was fighting the war on paper, and typing was considered a critical skill.

At Alice Deal, typing was taught by placing black covers over the keys so that the students were forced to type by touch.[39] It helped to be able to memorize, and it paid to have good hand-eye coordination. Warren was gifted at both. *"I made As every semester in typing. We all had these manual typewriters and, of course, you'd slam the carriage back to hear this 'ding!'*

"I was—by far—the best in the class at typing out of twenty people in the room. When they'd have a speed test, I would just race through the first line so I could SLAM the carriage back. Everybody else would stop at that point, because they were still on the first word when they would hear my 'ding!' Then they'd panic, and they'd try to go faster, and they'd screw up. So I had a lot of fun in typing class."

Warren put this same ferocious energy into his three paper routes. He took to the paper-throwing as if he had been born with inky fingers. Next, says Lou Battistone, "he conned the route manager, with that personality of his, into giving him The Westchester" in historic Tenleytown. In this, Warren had pulled off a coup. The Westchester was the kind of route an adult news carrier would ordinarily manage.

"It was a great opportunity. The Westchester was classy. The Westchester was just the crème de la crème. Queen Wilhelmina of the Netherlands owned it.[40] *There were six U.S. Senators on that route, and colonels, and Supreme Court justices, all these biggies. There was Oveta Culp Hobby, and Leon Henderson, the head*

of the Office of Price Administration." Mrs. Hobby came from a famous Texas publishing family, and had moved to Washington to serve as director of the WACs, the Women's Army Corps.

"So all of a sudden, I had this huge operation. I might have been thirteen or fourteen years old. I first got The Westchester just for the Post. I had to give up my other morning routes when I got The Westchester, and I felt badly." Warren had grown close to his *Times-Herald* manager. *"And when I told him that I had the chance to get the Post at The Westchester and that meant I had to give up his route in Spring Valley…he was terrific with me, but that was really kind of a sad moment."*

By then Warren considered himself an experienced paper-route operator, but he was tackling a complex logistical challenge. The Westchester consisted of five buildings that sprawled over $27^{1}/2$ acres, four of them connected and one separate. The route included two more apartment buildings across Cathedral Avenue, the Marlin and the Warwick. He would also be covering a small route of single-family homes up to Wisconsin Avenue.

"I started on a Sunday, and they handed me a book telling me the people and their apartment numbers. There was no training session and I didn't have the book in advance." He put on his tennis shoes and pulled out his bus pass, which cost three cents each way, and climbed sleepily aboard the Capital Transit bus. He did not stop for breakfast.

"I got up there around four-thirty a.m. There were these bundles and bundles of papers. I didn't know what the hell I was doing. I didn't know how the numbering system worked or anything. I sat there for hours and hours sorting and bundling the papers. I was short papers in the end, because people just took them from the bundles as they left for church.

"The whole thing was a disaster. I thought, what the hell have I gotten into? It took until ten or eleven in the morning to finish up.

"But I stumbled my way through. And it got better and I got good very fast. It was easy."

Warren raced out of his house to catch the first N2 bus over to The Westchester at 3900 Cathedral Avenue every morning. Often he had bus-pass number 001, the first person buying a bus pass each week.[41] The driver got used to looking out for him if he was running a little late. He would jump off the bus and run the couple of blocks over to The Westchester.

He had figured out the most efficient route and turned what could have been a boring and repetitive job delivering hundreds of newspapers each day into a competition with himself. *"See, the papers were a little thinner in those days, because of newsprint rationing. A thirty-six-page paper was a pretty good-size paper. I'd stand at one end of the hallway with a bundle and pull off a paper, fold it over flat, and tuck it to make a pancake, or roll it into a biscuit. Then I smacked it against my thigh. And I'd twist it against my wrist to put some spin on it and slide it down the hall. I could slide that thing fifty, even a hundred feet. It was kind of a test of skill, because the apartment doors were at different lengths down the hallway. I'd do the longest ones first. But the trick was to be able to do it in such a way that they'd all come to rest a few inches from the door. And sometimes people would have milk bottles, which made it more interesting."*

He also sold calendars to his newspaper customers, and he developed another sideline too. He asked all his customers for their old magazines as scrap paper for the war effort.[42] Then he would check the labels on the magazines to figure out when the subscriptions were expiring, using a code book he had gotten from Moore-Cottrell, the publishing powerhouse that had hired him as an agent to sell magazines. He made a card file of subscribers, and before their subscriptions expired, Warren would be knocking at their door, selling them a new magazine.[43]

Because The Westchester had so much turnover in wartime, Warren's biggest dread was customers who skipped out and didn't pay, leaving him stuck with the cost of their papers. After a few people skipped out on him, he started tipping the elevator girls to let him know when people were about to move. Then the

imperious Oveta Culp Hobby got behind. He thought that she should have a little more empathy for her paperboy, since she owned her own newspaper, the *Houston Post.* But he began to worry that she would skip out on him.

"I paid my own bills monthly, always on time, and I always showed up to deliver the papers. I was a responsible kid. I got presented with a war bond for perfect service. With the customers, I didn't want to let the receivables build up. I tried all kinds of things with Oveta Culp Hobby—leaving notes—and finally ended up knocking on her door at six in the morning to catch her before she could escape." Shy in other ways, Warren was never timid when it came to money. When Mrs. Hobby answered the door, *"I handed her an envelope, and she had to pay me."*

After school, Warren rode the bus back to Spring Valley and jumped on his bike to deliver the *Star.* On rainy winter afternoons, he would sometimes come off his paper route and appear on the doorstep of his friends' homes. He always wore battered canvas sneakers, so full of holes that his feet were swimming to the ankles; his skin would be pimply with cold inside a soaking-wet oversize plaid shirt. For some reason he never seemed to wear a coat. Motherly Mrs. Whoever would smile and shake her head at the pitiful sight, bundle him up, and towel him off while he basked in her warmth.[44]

At the end of 1944, Warren filed his first income tax return. He paid only seven dollars in taxes; to get it down to that, he deducted his wristwatch and bicycle as business expenses. He knew that was questionable. But at the time, he was not above cutting a few corners to get where he wanted to go.

At age fourteen, he had now fulfilled the promise laid out in his favorite book, *One Thousand Ways to Make $1,000.* His savings now totaled around a thousand dollars. He took great pride in that accomplishment. So far, he was ahead of the game, way ahead of the game, and getting ahead of the game, he knew, was the way to his goal.

10

True Crime Stories

Washington, D.C. • 1943–1945

Bad grades, tax evasion, and running away were the least of Warren's troubles in junior high. His parents didn't know it, but their son had turned to a life of crime.

"Well, I was antisocial, in eighth and ninth grade, after I moved there. I fell in with bad people and did things I shouldn't have. I was just rebelling. I was unhappy."

He started with minor schoolboy pranks.

"I loved print shop. I used to make calculations in print-shop class of the frequency of letters and numbers. That was something I could do by myself. I could set type, you know, and that sort of thing. I enjoyed printing up all kinds of things.

"I made up a letterhead from the American Temperance Union, Reverend A. W. Paul, President. I'd write letters to people on that letterhead saying that for years I'd lectured around the country on the evils of drink, and in these travels my appearances were always accompanied by my young apprentice, Harold. Harold was an example of what drink could do to men. He'd stand there on the stage with a pint, drooling, unable to comprehend what was going on around him, pathetic. Then I said that, unfortunately, young Harold died last week, and a mutual friend had suggested that you might be a replacement for him."[1]

The people with whom Warren felt most comfortable encouraged his antisocial impulses. He and a couple of new friends, Don Danly and Charlie Tron, took to hanging out at the new Sears store. Near Tenley Circle where Nebraska and Wisconsin Avenues intersected, the store was an eye-opening swoop of modern design dropped into the middle of Tenleytown, the second oldest neighborhood in Washington. Letters the height of a man spelled out SEARS on a curved metal deck several stories above sidewalk level.[2] On the roof behind the Sears sign was hidden a great novelty, an open-air parking garage, which quickly became popular with high school kids as a place to park and neck. The store had become the hangout for all the junior high kids too. Warren and his friends rode the H2 bus there at lunchtime or on Saturdays.

Most of the kids liked the dark little lunch counter Sears had installed in the basement, with its mesmerizing conveyer belt that spit out doughnuts all day long. But Warren, Don, and Charlie preferred Woolworth's across the street, even though the police station was on the opposite corner. Woolworth's sat kitty-corner from Sears. They could eat lunch and case the joint through the windows.

After their hamburgers, the boys would stroll down the stairs into Sears's lower level, bypassing the lunch counter and going straight to the sporting-goods section.

"We'd just steal the place blind. We'd steal stuff for which we had no use. We'd steal golf bags and golf clubs. I walked out of the lower level where the sporting goods were, up the stairway to the street, carrying a golf bag and golf clubs, and the clubs were stolen, and so was the bag. I stole hundreds of golf balls." They referred to their theft as "hooking."

"I don't know how we didn't get caught. We couldn't have looked innocent. A teenager who's doing something wrong does not look innocent.[3]

"I took the golf balls and filled up these orange sacks in my closet. As fast as Sears put them out, I was hooking them. I had no use for them, really. I wasn't selling them then. It's hard to think of a reason why you had this multiplying group of golf balls in the closet, this orange sack that's just getting bigger all the time. I should have diversified my theft. Instead, I made up this crazy story for my parents—and I know they didn't believe me, but—I told them I had this friend, and his father had died. He kept finding more of these golf balls that his father had bought. Who knows what my parents talked about at night."[4]

The Buffetts were aghast. Warren was their gifted child, but by the end of 1944, he had become the school delinquent. *"My grades were a quantification of my unhappiness. Math—Cs. English—C, D, D. Everything Xs for self-reliance, industry, courtesy. The less I interacted with teachers, the better it was. They actually put me in a room by myself there for a while where they would kind of shove my lessons under the door like Hannibal Lecter."*[5]

When graduation day came and the students were told to show up in a suit and tie, Warren refused. With that his principal, Bertie Backus, had had enough.

"They wouldn't let me graduate with the class at Alice Deal, because I was so disruptive and I wouldn't wear clothes that were appropriate. It was major. It was unpleasant. I was really rebelling. Some of the teachers predicted that I was going to be a disastrous failure. I set the record for checks on deficiencies in deportment and all that.

"But my dad never gave up on me. And my mother didn't either, actually. Neither one. It's great to have parents that believe in you."

Yet by the spring of 1945, as Warren was starting high school, the Buffetts had had enough too. By now, it was no great mystery how to motivate Warren. Howard threatened to take away the source of his money.

"My dad, who was always supportive of me, said, 'I know what you're capable of. And I'm not asking you to perform one hundred percent, but you can either keep behaving this way or you can do something in

relation to your potential. But if you don't do it, you have to give up the paper routes.' And that hit me. My dad was low-key, just sort of letting me know he was disappointed with me. And that killed me probably a lot more than his telling me I couldn't do this or that, you know."

11

Pudgy She Was Not

Washington, D.C. • 1944–1945

The disruption Warren had created in his family's life undoubtedly made his father's already challenging career as a new Congressman no easier. Members of the 78th Congress fraternized under a sort of jolly monarchy ruled by House Speaker Sam Rayburn, a Texas Democrat who kept five portraits of Robert E. Lee in his office, all facing south. The House that Rayburn oversaw was a comfortable home for the typical backbencher, an elbow-grabber who lived for county fairs and the chance to kiss somebody's grandma, a beauty queen, or any secretary he could catch. Famed for his artful behind-the-scenes vote-wrangling and powerful oratory, Rayburn operated a sort of private saloon in the afternoons where he served "bourbon and branch" water to his favorites.

Naturally, Howard was not among them. Besides the fact that he was a Republican, his idea of a good time was reading the Congressional Record every night. He never went near a saloon. And yet, in many other ways, he did fit the profile of the typical Congressman of the era—hailing from a small city, graduate of a state university, middling student, background in community politics, Rotarian from the middle of the middle class, not part of the country-club set, and a foe of Communism.

But instead of joining the rest of his peers in what amounted to a club and beginning the climb up the ladder of power, Howard Buffett quickly gained a reputation as perhaps the least-backslapping Congressman ever to represent his state. He stayed miles away from the "rubber chicken circuit" of campaign money and vote-getting events that occupied so many Congressmen, and made it known his vote was not for sale or barter. He turned down a raise because the people who elected him had voted him in at a lower salary. He went around with eyebrows lofted at the perks that came with being a Congressman. The subsidized restaurants, the payrolls padded with friends, relatives, and mistresses, the greenhouse that supplied free plants, the "stationery store" that sold, at wholesale prices, everything from tires to jewelry—Howard was shocked by all of it and let that be known.

His long-standing isolationism was shared by a friend, Republican leader Robert Taft.[1] But isolationists were no longer entering Congress; they were leaving or retiring. Moreover, with the country at war and the government running at a deficit, Howard was obsessed with the quixotic goal of trying to return the country to the "gold standard." The United States had dropped the gold standard in 1933. Ever since, the Treasury had been printing money freely to finance first the New Deal and now the war. Howard feared that someday the United States might wind up like Germany in the 1930s, when people had to cart wheelbarrows of money down the street to buy a head of cabbage—the direct result of Germany being forced to deplete its gold stock to pay reparations after World War I.[2] The economic chaos that resulted was one of the major factors that had led to Hitler.

Certain that the government was going to spend the country into ruination, Howard bought a farm back in Nebraska to serve as a refuge for the family when everybody else starved. A distrust of government bonds was so well-entrenched in the Buffett household that when the family held a powwow about giving a savings bond to somebody for a birthday present, young Bertie, nine years old, thought her parents were trying to put one over on the guy. "But won't he know they're *worthless*?"[3] she asked.

Howard's rigidity impeded him from doing his job, which was to legislate.

"He would lose these votes in the House, maybe 412 to 3. My dad would be among the three. And it just didn't get to him. He was very much at peace. It would have gotten to me—I get mad when I lose. I can't ever recall seeing him depressed or despondent. He just figured he was doing the best he could. He went his own way, and he knew why he was there—for us kids. He had a very pessimistic appraisal of where the country was going, but he was not a pessimist."

The way Howard invariably held aloft his principles—instead of working toward Republican Party goals by joining coalitions—strained relationships with his colleagues and took a toll on the family. Leila cared about fitting in; other people's opinions mattered to her. She was also competitive. "Why can't you be a little more flexible," she said, "like Ken Wherry?"—the junior Nebraska senator who was moving quickly up the ranks. Howard was having none of it. "We believed in him," says Doris, "but it was hard to see him lose all the time." That was an understatement. All the Buffetts admired Howard's fortitude and credit their father for teaching them integrity. But each of the children absorbed in their own way a desire to belong that somehow muted or balanced the family streak of independence.

Her husband's stance as the lone wolf of the party exacerbated Leila's irritable mood. Still miserable about living in Washington, she tried to create a miniature Omaha and spent her free time with the women of the Nebraska delegation. But that free time was limited, for she no longer had a cleaning lady. She felt put upon. "I gave it all up to marry Howard,"[4] she would say, adding this lament to her stories of how she and Howard had sacrificed for their ungrateful children's welfare. But rather than teaching those children to help around the house, she did everything, because "it was just easier to do it myself." Feelings of martyrdom made her angry at the kids a lot of the time, especially at Doris, who was having her own issues about fitting in.

Although strikingly pretty, Doris says she never felt that way, and was insecure about whether she was good enough for the sophisticated Washington crowd of which she longed to be a part. She was invited to the French Embassy for Margaret Truman's birthday party and was added to *The Debutante Register,* as she began planning to debut as a Princess of Ak-Sar-Ben[*7] with the crowd she would have been graduating with back in Omaha. Warren made fun of her for her pretensions.

Leila, herself a determined striver who cared deeply about appearances, would pore over every bit of news about the Duchess of Windsor, a penniless commoner who had been rescued by a prince.[5] But, unlike the duchess, who spent the rest of her life amassing one of the world's most impressive collections of jewels, Leila's ambition and pride wrapped themselves in a self-conscious disdain for ostentation. She pictured the family as a middle-class Midwestern archetype, a *Saturday Evening Post* magazine cover, and berated Doris for being socially ambitious.

Still fourteen years old, Warren became a sophomore at Woodrow Wilson High School in February 1945, upon his graduation from Alice Deal.[6] He wanted to be both "special" and "normal" at the same time. Much less mature than his classmates, he was being carefully watched by his parents, who were determined to see him straighten out. His paper routes were the source of his autonomy, such autonomy as he now had. And he had been reading—as well as throwing—the papers.

"I read the comics, the sports section, and looked at the stock pages every morning before I delivered the newspapers. I read the cartoon Li'l Abner every morning. I had to know what Li'l Abner was doing every day. His appeal was that he made you feel so smart. You'd read this thing and think, 'If I was in that position…this guy is so dumb.' Because here was Daisy Mae, this incredible woman who was just nuts about him, and was always chasing after him, and he just kept passing her up and not noticing her. Every red-blooded American boy in those days would have been just waiting there for Daisy Mae to catch him."

Daisy Mae Scragg, the hillbilly heroine of the Appalachian cartoon hamlet of Dogpatch, was a bodacious blonde whose cleavage burst from an off-the-shoulder polka-dot blouse. The dim-witted strongman Li'l Abner Yokum spent most of his time trying to evade Daisy Mae's marital designs on him. But the faster he

ran away, the more deaf he seemed to her attention and longing, the more he spurned her, the harder Daisy Mae chased him. Even though rich and powerful men wooed her, to Daisy Mae there was but one man on earth, Li'l Abner.[7]

Besides elusiveness, Li'l Abner's only apparent asset was his manly physique. Warren's poor record with girls so far suggested that if he ever wanted to attract the interest of a girl like Daisy Mae, he had better do something to make himself more attractive. Now he developed a new interest, which conveniently gave him an excuse as well for hiding away down in the basement. The way that Frankie Zick could clean-and-jerk fifty-pound bags of animal feed for hours at a time at South Omaha Feed had impressed him. He got his friend Lou Battistone interested and they embarked on a weight-lifting program. At the time, weight training was not the stuff of serious athletes, but it had many qualities that appealed to Warren: systems, measuring, counting, repetition, and competing with yourself. In search of technique, he had discovered Bob Hoffman and his magazine, *Strength and Health.*

Strength and Health was Hoffman's attempt to overcome the stigma against weight lifting through aggressive promotion. It was edited, published, and apparently written largely by Hoffman himself. Ads for his products appeared on nearly every page. "Uncle" Bob's technical knowledge, his razzle-dazzle, the man's unflagging ability to market himself, were striking.

"He was the coach of most of the Olympic team. He was the head of the York Barbell Company, and he was the author of the Big Arms and the Big Chest books. The basic thing he sold initially was barbell sets. If you went to a sporting-goods store then, everything was York barbells. You could buy all these different kinds of sets."

Warren got a set of dumbbells and a barbell with a set of plates in increments of one and a quarter pounds that slipped on and off the bar, which he tightened with a little screwdriver that came with the set. He kept the weights in the basement and was *"always down there clanking. My parents got a big kick out of the whole thing."*

Sometimes he went down to the YMCA to lift weights among other young men. He and Lou took their hobby seriously, making insider jokes about the "heavy and light" lifting system and "upright rowing motions." They paid close attention to everything Uncle Bob wrote. Hoffman knew how to adapt to the tenor of the times. Everyone knew about the vicious Jap soldier's ability to withstand pain and suffering, so he wrote that the point of lifting weights was to fight the Japanese. He illustrated this with a photo of a vicious Jap soldier, arched in a backbend from his toes to the crown of his head, lifting a huge set of cement barbells over his chest, training to beat the Allies. Warren was not lifting weights to fight the Japanese, or, for that matter, to fight anybody. Everything that Uncle Bob wrote, however, inspired him in his competition with himself.

But while Warren was clanking down in the basement, the Republicans were in hell. Franklin Roosevelt had managed to win a fourth term as President, ensuring the Democrats another four years in the White House. At the dinner table, the family listened to much ranting from Howard. Then, on April 12, Roosevelt died of a cerebral hemorrhage, and his Vice President, Harry Truman, succeeded him as President.

Roosevelt's death sent most of the country into deep mourning, tinged with fear. Three and a half years into the war, the country had lost the man who made it feel secure, and it had low expectations of Truman. He retained FDR's cabinet and sounded so humble that some thought he might be overwhelmed by the job. But to the Buffetts, no one could be worse than FDR. The family down the street whose father worked for the Canadian Embassy came to call on their Congressman neighbor upon the President's death and pay their condolences. But when they arrived, Doris says, "Yo, ho, ho, we were celebrating."[8]

And to Warren, the death of a President meant another way to make money. Newspapers put out special editions, and he hustled himself out to the street corner, hawking papers while everybody mourned.

One month later, on May 8, 1945, came V-E Day, the formal end of the war in Europe, following Germany's unconditional surrender. Again there were special editions to sell, and Warren echoed his father's political convictions as a matter of course. But at the time, he was only passingly interested in these adult concerns,

because his real obsession was weight lifting and Bob Hoffman. He spent most of his free time down in the basement. A few weeks later, when school was out, he could wait no longer. He had to meet his idol, Uncle Bob. *"He was it. I had to see him in person."*

With their parents' amused blessing, Warren and Lou took off for York, Pennsylvania, hitchhhiking part of the way.[9]

"He had this barbell factory up there in York where they turned this stuff out. It was really more of a foundry. And he had the whole Olympic team working there. John Grimek was the big bodybuilder. Steve Stanko held the world's record then for the clean and jerk: three hundred eighty-one pounds. But this is before they had super-heavyweight classifications."

In one sense the visit was demoralizing. *"The guys did not bulk up the same way in those days. It blew my mind that here were these guys that were Olympic champions, but a lot of them were small because they were in smaller-weight classes. And if you saw them in a foundry, wearing foundry-type clothes, they just looked like nothing."* But in another sense, the sight of those fairly ordinary-looking men lifted the boys' aspirations. Maybe success in bodybuilding was within their reach. They saw themselves becoming men, physical specimens who could impress a woman. *"Uncle Bob—when he spoke, it was like God was talking to us. And when you looked at yourself in the mirror, you saw deltoids and abs and the latissimus dorsi and everything. You learned every muscle group."*

But the most impressive celebrity in *Strength and Health*—apart from Uncle Bob himself—was not John Grimek, the greatest bodybuilder in the world. It was a woman.

"There were not a lot of women in Strength and Health. Pudgy Stockton's about the only one that ever made it. I liked Pudgy. She was impressive. We talked about her a lot at school."

That was more than a slight understatement. Warren and Lou were obsessed with Abbye "Pudgy" Stockton, a work of art in human flesh—taut thighs rippling as her chiseled arms lofted a huge barbell above her wind-whipped hair, bikini showing off her tiny waist and perky bosom to all the musclemen and gaping onlookers at Santa Monica's Muscle Beach. Five foot one and 115 pounds, she could lift a grown man in the air over her head and do it without sacrificing any of her femininity. As the world's "Foremost Female Physical Culturist," she wrote "Barbelles," a column in *Strength and Health,* and conducted a Salon of Figure Development, "specializing in bust development, figure contouring, and reducing" in Los Angeles.[10]

"She had the muscle tone of Mitzi Gaynor and the mammary development of Sophia Loren," says Lou Battistone. "She was phenomenal. And we—I have to admit to you—we lusted for her."

Until now, Daisy Mae had been Warren's fantasy girl. He would always look for the qualities of Daisy Mae in a woman. But Pudgy—Pudgy was *real*.

It was not clear, however, exactly what you did if you had a girlfriend like Pudgy.[11] The boys puzzled over ads for "Bob Hoffman's guide to a successful happy marriage," which featured "Premarital examination. How to examine your wife before marriage to make sure she's 'intact,' as well as courtship, why people marry, and minor forms of lovemaking." Just what were the minor forms of lovemaking? they wondered. Even the major forms were largely a mystery to them; the ads in the back of *Strength and Health* were the best the 1940s could do in terms of sex education. Don't worry, Dad, we're down in the basement, doing a little studying for our physics exam.

However, in the end, Warren's fascination with numbers won out.

"You know, you kept measuring that biceps to see if it'd gone from thirteen to thirteen and a quarter inches. And you were always worried whether you were loosening up the tape or anything. But I never improved from looking like the Charles Atlas 'before' picture. I think my biceps went from thirteen inches to thirteen and a quarter inches after thousands of curls.

"The Big Arms book didn't do me much good."

12

Silent Sales

Washington, D.C. • 1945–1947

That August, while the Buffetts were back in Omaha, the United States dropped two atomic bombs on Hiroshima and Nagasaki; on September 2, Japan formally surrendered. The war was over. Americans celebrated in near hysteria. But Warren recalls that he quickly started thinking through the next chess moves after the dropping of the bombs.

"I didn't know anything about physics. But I knew you could kill a couple of hundred thousand people if you were the first one to use the bomb in a war. It's as if I run into some guy in a dark alley, and I've got a cannon, but he's got a gun. If he's willing to pull the trigger and I have some moral compunction against doing it, he wins. Einstein said right away, 'This has changed everything in the world except how men think.' It put a fuse to the end of the world. Now, it may be a long fuse, and there may be ways to interrupt it, but once that metaphorical bomb has a dozen fuses all burning, the problem becomes a different sort of thing than if no fuse is lit. I was only fourteen, but it seemed to me just totally clear what was going to happen, and it has happened to quite a degree."

A few weeks later, with the family back in Washington, Warren returned to finish tenth grade at Woodrow Wilson High School, at fifteen still a kid but now also a businessman. He was making so much money throwing papers that he had accumulated more than $2,000. Howard had let his son invest in Builders Supply Co., a hardware store that he and Carl Falk were opening next to the feed store back in Omaha.[1] Meanwhile, Warren himself had bought a forty-acre farm for $1,200 about seventy miles away, near Walthill, in Thurston County, Nebraska.[2] A tenant farmer worked the farm and they shared the profits—just the kind of arrangement Warren liked, with someone else doing the sweaty, boring work. Warren began introducing himself to people in high school as Warren Buffett from Nebraska, who owned a tenant farm back in the Midwest.[3]

He thought like a businessman but did not look like one. He fit uncomfortably into the high school crowd, showing up with the same tattered sneakers and droopy socks peeking out from under baggy trousers day after day, skinny neck and narrow shoulders swallowed inside his shirt. If forced into dress shoes, he wore startling yellow or white socks above the scuffed leather. He seemed to squirm in his seat all the time. Sometimes he looked shy, almost innocent. At others, he wore a sharp, tough expression.

Doris and Warren ignored each other if their paths crossed in the halls of high school. *"Doris, who was very popular, was particularly ashamed of me, because I dressed terribly. Sometimes your sister would help you get socialized but I rejected that, basically. It wasn't her fault; I was painfully aware of being socially maladjusted. I may just have felt so hopeless."*

Warren's stone-faced, smart-aleck act covered up the feelings of inadequacy that had made his life so difficult since leaving Omaha. He desperately wanted to be normal, but still felt very much the outsider.

He was "hesitant," said classmate Norma Thurston, his friend Don Danly's girlfriend, "and he chose his words carefully and never made any commitment, however small, if he thought he might have to take it back."[4]

Many of his classmates plunged enthusiastically into teenage life, joining fraternities and sororities, getting pinned, and going to parties in their families' basements where they served soda pop, hot dogs, and ice cream and then turned the lights down while everybody necked. Instead of necking, Warren rubber-necked. He had a regular Saturday night reservation with Lou Battistone at Jimmy Lake's theater, a local burlesque joint, where they had a fantasy flirtation with one of the dancers, Kitty Lyne. Warren would roar with laughter when a comedian took a pratfall or the second banana in the balcony started heckling him.[5] He spent twenty-five dollars on a 1920s-style raccoon coat. When he wore it down to Jimmy Lake's, the bouncer told him, "No clowning around, you guys. Either take that coat off, or you can't come in."[6] He took it off.

The side of Warren that had robbed Sears blind was in transition: fading, but not gone. He and Danly still took the occasional five-finger discount at Sears. When his teachers told him they had most of their retirement savings in AT&T stock, he shorted it, then showed them the trade tickets to give them heartburn. *"I was a pain in the ass,"* he says.[7]

His exceptional powers of reasoning and smart-aleck tendencies combined into a talent for taking perverse stands. Somehow, probably because he was the son of a Congressman, he wound up appearing on a radio program on January 3, 1946. CBS "American School of the Air" brought its program to WTOP, the local station owned by the *Washington Post.* On that Saturday morning, Warren went down to the station, where he and four other kids sat around a microphone and debated as "Congress in Session."

The show's hostess assigned him the job of spicing up the debate. He argued convincingly in favor of absurdities—ideas on the order of eliminating income taxes or annexing Japan. *"When they wanted someone to take a crazy position,"* he says, *"I did it."* But while he relished argument for its own sake, his clever retorts, lightning-fast counterarguments, and general contrariness hindered his quest to be liked by his peers.

Until now, Warren's efforts to get along with people had had mixed results. He charmed adults, except for his teachers. He felt ill at ease with his peers, but had always managed to make a few close friends. He desperately wanted people to like him and especially not to attack him personally. He wanted a system. In fact, he already had one, but he wasn't using the system to its full effect. Now, lacking any other resources, he began to work harder at it.

Warren had found this system at his grandfather's house, where he read everything he could get his hands on at a blazing pace, just as he did at home. Browsing the bookshelf in the back bedroom, he had consumed every issue of the *Progressive Grocer* and every single copy of the *Daily Nebraskan* that had been edited by his father, and worked his way like a boll weevil through all fifteen years of the *Reader's Digest* that Ernest had accumulated. This bookcase also held a series of small biographies, many of them on business leaders. Since a young age Warren had studied the lives of men like Jay Cooke, Daniel Drew, Jim Fisk, Cornelius Vanderbilt, Jay Gould, John D. Rockefeller, and Andrew Carnegie. Some of these books he read and reread. One of them was special—not a biography but a paperback written by former salesman Dale Carnegie,[8] enticingly titled *How to Win Friends and Influence People.* He had discovered it at age eight or nine.

Warren knew he needed to win friends, and he wanted to influence people. He opened the book. It hooked him from the first page. "If you want to gather honey," it began, "don't kick over the beehive."[9]

Criticism is futile, said Carnegie.

Rule number one: Don't criticize, condemn, or complain.

This idea riveted Warren. Criticism was something he knew everything about.

Criticism puts people on the defensive, Carnegie said, and makes them strive to justify themselves. It is dangerous, because it wounds people's precious pride, hurts their sense of importance, and arouses resentment. Carnegie advocated avoiding confrontation. "People don't want criticism. They want honest and sincere appreciation." I am not talking about flattery, Carnegie said. Flattery is insincere and selfish.

Appreciation is sincere and comes from the heart. The deepest urge in human nature is "the desire to be important."[10]

Although "don't criticize" was the most important, there were thirty rules in all.

Everybody wants attention and admiration. Nobody wants to be criticized.

The sweetest sound in the English language is the sound of a person's own name.

The only way to get the best of an argument is to avoid it.

If you are wrong, admit it quickly and emphatically.

Ask questions instead of giving direct orders.

Give the other person a fine reputation to live up to.

Call attention to people's mistakes indirectly. Let the other person save face.

I am talking about a new way of life, Carnegie said. *I am talking about a new way of life.*

Warren's heart lifted. He thought he had found the truth. This was a system. He felt so disadvantaged socially that he needed a system to sell himself to people, a system he could learn once and use without having to respond in a new way to each changing situation.

But it took numbers to prove that it actually worked. He decided to do a statistical analysis of what happened if he did follow Dale Carnegie's rules, and what happened if he didn't. He tried giving attention and appreciation, and he tried doing nothing or being disagreeable. People around him did not know he was performing experiments on them in the silence of his own head, but he watched how they responded. He kept track of his results. Filled with a rising joy, he saw what the numbers proved: The rules worked.

Now he had a system. He had a set of rules.

But it did you no good to *read* about the rules. You had to *live* them. *I am talking about a new way of life,* said Carnegie.

Warren began to practice. He started at a very elementary level. Some of it came naturally to him, but he found that this system could not be applied in an automatic and easy manner. "Don't criticize" sounded simple, but there were ways to criticize without even realizing it. It was hard not to show off, not to display annoyance and impatience. And admitting you were wrong was easy sometimes and very difficult at other times. Giving people attention and sincere appreciation and admiration was one of the hardest. Someone sunk in misery much of the time, as Warren was, found it hard to focus on others, not himself.

Nevertheless, he gradually worked out for himself that the dark years of junior high were living proof that ignoring Dale Carnegie's rules didn't work. As he started to gain his footing in high school, he continued to practice the rules in encounters with others.

Unlike most people who read Carnegie's book and thought, gee, that makes sense, then set the book aside and forgot about it, Warren worked at this project with unusual concentration; he kept coming back to these ideas and using them. Even when he failed and forgot and went for long stretches without applying himself to the system, he returned and resumed practicing in the end. By high school, he had accumulated a few more friends, joined the Woodrow Wilson golf team, and managed to make himself inoffensive if not popular. Dale Carnegie had honed his natural wit; above all, it enhanced his persuasiveness, his flair for salesmanship.

He seemed intense, yet with an impish side; even-tempered and congenial, yet somehow solitary. Certainly his passion for making money—which occupied most of his spare time—made him unique at Woodrow

Wilson.

No one else in high school was a businessman. Just from pitching newspapers a couple of hours a day, he was earning $175 a month, more money than his teachers. In 1946, a grown man felt well paid if he made $3,000 a year for full-time work.[11] Warren kept his money in a chifforobe at home, which no one but he was allowed to touch. "I was in his house one day," says Lou Battistone, "and he opened up a drawer and said, 'This is what I've been saving.' And he had seven hundred dollars in small bills. That's a big stack, let me tell you."[12]

He had started several new businesses. Buffett's Golf Balls peddled refurbished golf balls for six bucks a dozen.[13] These he ordered from a fellow in Chicago named Witek, whom Warren couldn't resist nicknaming "Half-Witek." *"They were classy balls, really good golf balls too, Titleist and Spalding Dots and Maxflis, which I bought for three and a half bucks a dozen. They looked brand-new. He probably got them the way we first tried to get them, out of water traps, only he was better."* Nobody at school knew about Half-Witek. Even his family didn't seem to realize that he bought the used golf balls that he and his friend Don Danly were selling. Fellow members of the Wilson golf team thought he fished them out of water traps.[14]

Buffett's Approval Service sold sets of collectible stamps to collectors out of state. Buffett's Showroom Shine was a car-buffing business that he and Battistone ran out of Lou's father's used-car lot, until they abandoned this because it involved manual labor and turned out to be too damn much work.[15]

Then one day when Warren was seventeen and a senior, he raced to tell Don Danly about a new idea. It had the same exponential quality to it as the weighing machines from *One Thousand Ways to Make $1,000* —where one machine could pay for another and another. "I bought this old pinball machine for twenty-five bucks," he said, "and we can have a partnership. Your part of the deal is to fix it up.[16] And, lookit, we'll tell Frank Erico, the barber, 'We represent Wilson's Coin-Operated Machine Company, and we have a proposition from Mr. Wilson. It's at no risk to you. Let's put this nickel machine in the back, Mr. Erico, and your customers can play while they wait. And we'll split the money.'"[17]

Danly was game. Although no one had ever put pinball machines in barbershops before, they presented their proposition to Mr. Erico, who bit. The boys took the legs off the pinball machine, put it in Don's father's car, and hauled it over to Mr. Erico's barbershop, where they installed it. Sure enough, the very first evening, when Warren and Don came back to check, "Gee zip!" Warren said—four bucks' worth of nickels had found their way into the machine. Mr. Erico was delighted, and the pinball machine stayed.[18]

After a week, Warren emptied the machine and scooped the nickels into two piles. "Mr. Erico," he said, "let's not bother going one for you, one for me. Just pick the pile you want."[19] It was like the old-fashioned way of dividing cake: one child cuts, the other child chooses. After Mr. Erico swept one pile over toward his side of the table, Warren counted out the other and found $25 in his pile. That was enough to buy another pinball machine. Pretty soon, seven or eight of "Mr. Wilson's" pinball machines were sitting in barbershops around town. Warren had discovered the miracle of capital: money that works for its owner, as if it had a job of its own.

"You had to get along with the barbers. That was crucial. I mean, these guys could all go buy these machines for twenty-five bucks themselves. So we would always convince them that it took someone with a four-hundred IQ to repair pinball machines.

"Now, there were some pretty unsavory characters in the pinball business, and they all hung out at a place called Silent Sales. That was our hunting ground. Silent Sales was in the 900 block of D Street, right near the Gayety burlesque house on the seedy side of downtown. These characters at Silent Sales were amused by us, sort of. Danly and I would go down there, and we'd look at these machines and buy whatever we could for twenty-five bucks. New machines cost about three hundred dollars. I used to subscribe to Billboard magazine in those days to keep track of what was going on in pinball machines.

"The guys at Silent Sales taught us some things. There were some illegal slot machines around. And they showed us how to pour beer into them to make a fifty-cent piece get stuck in the mechanism, and you could just keep pulling the handle until it paid. They showed us how to disable the electric cutoff for the coin-operated soda machines at the movie theaters so if you stuck a nickel in, then immediately pulled the plug, you could empty the whole machine.

"These guys would explain all this stuff to us and we'd just eat it up.

"My dad probably suspected the kind of characters we were hanging out with. But he always felt I'd turn out okay."

Warren and Don were already making good money with single pinball machines in barbershops, but then they found a gold mine. *"Our home run of all time was down near Griffith Stadium, which is the old baseball park."* In the middle of Washington's worst slums, they found *"a seven-chair black barbershop. There were a lot of dudes down there. After we put a pinball machine in, we would come back to collect, and these guys had drilled holes in the bottom of the machine and rigged the tilt mechanism. It was a real contest of wills. But that was our mother lode, our best location by far. The guys who played at these barbershops were constantly imploring us to adjust the tilt mechanism so you could shove the machine harder without making it tilt.*

"Listen, we were not judgmental about our customers." If anything, they were probably trying to pick up more ideas like the scams the guys at Silent Sales had taught them, and those they were inventing on their own. *"One time we were down in Danly's basement playing with my coin collection. To make collecting on the paper route more interesting, I used to collect different kinds of coins. So I had these Whitman coin boards with slots for the coins. I said to Don, 'It looks to me like we could take these coin boards and use them as molds for casting slugs.'*

"Danly was the brains of the operation. And so, sure enough, he learned how to pour these molds for casting slugs, and I supplied the coin boards. We would try to use the slugs for vending machines for soda pop and things like that. Our basic formula was to have our income in currency and our outgo in slugs.

"One time, Danly's father came down in the basement and said, 'What are you boys doing?'

"We were pouring metal into these things. And it was, 'We're doing this experiment for school, Dad.' We were always doing experiments for school."

At school, however, Warren mostly liked to talk about his businesses—not his scams—and by the spring semester, near the end of high school, his raconteuring had turned him and Don into a minor legend around Woodrow Wilson.

"Everybody knew we had the pinball-machine business, and everybody kind of knew we were raking it in. We probably exaggerated too when we told them. And so people wanted in on it. It was like stocks."

One of them was a boy named Bob Kerlin—an intense kid who played on the golf team with Warren.[20] He and Don weren't open to letting anyone in on their pinball business, but they did have a plan for using Kerlin for their newest venture. *"We had given up stealing the golf balls from Sears, but we got this idea that we were going to retrieve lost golf balls from the lakes on golf courses around Washington. And now we saw a position for Kerlin, because neither one of us wanted to retrieve the golf balls."*

They created an elaborate scenario for how Kerlin would do this. It bordered on an evil prank, but school was out in a couple of months, so what the hell.

"We went down again to Ninth and D, where the army surplus store was located, right by Silent Sales, and bought a gas mask. And then we got this garden hose and we hooked them up and tested this thing in a bathtub by putting our faces in three inches of water."

Doing what he called his Tom Sawyer routine, Warren said to Kerlin: *"'This is your chance. We're going to deal you in.' We told him that we would go out at four in the morning to some golf course in Virginia, and that he would wear the gas mask in the lake and retrieve the balls, and we'd split the money three ways.*

"Kerlin said, 'How do I stay down on the bottom?' I said, 'Oh, I've got that all worked out. What we will do is, you'll strip, and you'll be nude, but you'll wear my Washington Post newspaper bag, and we'll put barbell plates in the newspaper bag so that you'll stay on the bottom.'

"So we went out to this golf course, and all the way Kerlin was expressing some doubt. And Danly and I said, 'Have we ever failed? I mean, you're looking at a couple of guys…if you want to quit now, okay, but, you know, you're not in any future deals.'

"So we got out there at the crack of dawn. Kerlin was stripped, and we were dressed warmly. He was totally nude with a Washington Post newspaper bag on and all these barbell plates, and he started wading into the lake. Of course, he didn't know if he was stepping on snakes or golf balls or whatever. And then he got down and when he tugged on the rope, we pulled him back up. He said, 'I can't see anything.' We said, 'Don't worry about seeing anything, just grope around.' And he started to go back down.

"But before his head went under, this truck came over the rise, carrying the guy that's going to fill up sand traps in the morning. He saw us and drove up, saying, 'What are you kids doing?' Danly and I were thinking fast. 'We're conducting an experiment for our high school physics class, sir.' Kerlin was nodding the whole time. So we had to get him out of the pond. The whole thing blew up on us."[21]

Whatever happened to poor Kerlin, and however nude he actually was, a watered-down version of this story got around. It would be the last great Tom Sawyering of Warren's high school career.

By now, however, he had made a small fortune: a glistening $5,000 heap, sticky with the newsprint from throwing more than five hundred thousand newspapers. Newsprint snowflakes made up more than half his snowball. Rich as he was, however, Warren meant to keep that snowball rolling.[*8]

13

The Rules of the Racetrack

Omaha and Washington, D.C. • 1940s

Warren's Dale Carnegie tests of behavior were handicapping: a mathematical experiment on human nature. The data he collected gave him the odds that Carnegie was right.

This way of thinking was an extension of his childhood hobby of calculating the odds on the life expectancies of hymn composers. But his interest in longevity was no mere abstraction. Ernest Buffett, to whom Warren was extremely attached, had died in September 1946 at age sixty-nine, while the family was in Omaha campaigning for Howard's third term. Warren was sixteen. Of his four grandparents, only Stella, age seventy-three, remained alive, confined in the Norfolk State Hospital. Long before Ernest's death, Warren had been preoccupied with his own lifespan; these latest family events did nothing to ease his mind about either longevity or insanity. Warren's passion for handicapping, however, extended to many other subjects, and in an embryonic form had started much earlier—well before he even knew the meaning of the term—back when he was a little kid with marbles and license plates and bottle caps and a fingerprint kit for nuns.

The art of handicapping is based on information. The key was having *more information than the other guy*—then analyzing it right and using it rationally. Warren had first put this into practical use as a child down

at the Ak-Sar-Ben racetrack, when his friend Bob Russell's mother introduced the boys to the world of pari-mutuel betting.

Warren and Russ were too young to wager, but they quickly figured out how to make a buck. Amid the cigarette butts, beer slops, old programs, and hot-dog remnants in the grime and sawdust of the Ak-Sar-Ben floorboards were thousands of discarded tickets, peeping out like mushrooms on the forest floor. The boys turned themselves into truffle hounds.

"They call that 'stooping.' At the start of the racing season you get all these people who'd never seen a race except in the movies. And they'd think that if your horse came in second or third, you didn't get paid, because all the emphasis is on the winner, so they'd throw away place and show tickets. The other time you would hit it big was when there was a disputed race. That little light would go on that said 'contested' or 'protest.' By that time, some people had thrown away their tickets. Meanwhile, we were just gobbling them up. We wouldn't even look at them when we were working. At night we'd go through them. It was awful; people would spit on the floor. But we had great fun. If I found any winning tickets, my aunt Alice, who didn't care anything at all about races, would cash them in for us, because they wouldn't cash them for kids."

Warren wanted to go to the races all the time. When Mrs. Russell wasn't taking him, *"my dad would never go to the races,"* says Buffett. *"He did not believe in the races."* Instead, his parents let his great-uncle Frank, the oddball of the family, take him. Frank had long ago reconciled with Ernest and had eventually married a woman whom the family referred to as "the gold-digger."[1] He had no particular interest in the horses, but he took Warren to Ak-Sar-Ben because his great-nephew wanted to go.

At Ak-Sar-Ben, Warren had learned something about how to read the tip sheet, and it opened up a whole new world. Handicapping horses combined two things he was very, very good at: collecting information and math. It was not unlike counting cards at blackjack, except that the winning hand had four legs and ran around a track. Soon, he and Russ knew enough to put out their own tip sheet, the cannily named *Stable-Boy Selections*.

"We got away with it for a while. They weren't the hottest sellers in the world. I mean, a couple of little kids selling this thing we typed up in my basement on an old Royal typewriter. The limiting factor was carbons in those days. You could probably only get in five or so carbons. But I got on the Royal and Bob Russell and I doped out the horses and then we typed up this thing.

"We were in the track, yelling, 'Get your Stable-Boy Selections!' But the Blue Sheet was the number-one tip sheet, and the racetrack was getting a commission on it. The Blue Sheet sold for a little more. At twenty-five cents, we were a cut-rate product. They shut down the Stable-Boy Selections fast because they were getting a cut on everything sold in the place except for us."

When the Buffetts moved to Washington, D.C., the only plus for Warren was the chance to upgrade his handicapping skills.

"The one thing I knew about Congress was that Congressmen had access to the Library of Congress—and the Library of Congress had everything that had ever been written. So when we got to Washington, I said, 'Pop, there's just one thing I want. I want you to ask the Library of Congress for every book they have on horse handicapping.' And my dad said, 'Well, don't you think they're going to think it's a little strange if the first thing a new Congressman asks for is all the books on horse handicapping?' I said, 'Pop, who was out there at the county fairs stumping for your election? Who was down there at the packinghouses ready to get to the cops if something happened?' I said, 'And you're coming up for reelection in two more years. You're going to need me. So this is payoff time.' And he got me hundreds of books on horse handicapping.[2]

"Then what I would do is read all these books. I sent away to a place in Chicago on North Clark Street where you could get old racing forms, months of them, for very little. They were old, so who wanted them? I would go through them, using my handicapping techniques to handicap one day and see the next day how it worked out. I ran tests of my handicapping ability day after day, all these different systems I had in my

mind.

"There are two kinds of handicappers. There are speed handicappers and class handicappers. Speed handicappers figure out the horse with the best times in the past. The fastest horse will win. Class handicappers feel that the horse that's run against ten-thousand-dollar horses and done well and now is running against the five-thousand-dollar horses will beat them. Because, they say, the horse runs just fast enough to win.

"In horse racing it pays to understand both types of handicapping. But back then I was basically a speed guy. I was a quantitative guy to start with."

As he tested, thought, and observed, Warren discovered the Rules of the Racetrack:

1. Nobody ever goes home after the first race.

2. You don't have to make it back the way you lost it.

The racetrack counts on people to keep betting until they lose. Couldn't a good handicapper turn these rules around and win?

"The market is a racetrack too. But I was not developing elaborate theories in those days. I was just a little kid."

Betting in Washington was ubiquitous.

"I would go down to my dad's office fairly often, and there was actually a bookie in what was then called the Old House Office Building. You could go to the elevator shaft and yell 'Sammy!' or something like that and this kid would come up and take bets.

"Now, I used to do a little bookmaking too, for guys who wanted to bet on the Preakness or something like that. That's the end of the game I liked, the fifteen percent take with no risk. My dad, you know, was struggling somewhat to keep this under control. He was amused by it to some extent, but he could also see how it could veer off in the wrong direction."

During summer vacations, Warren returned to Omaha and went stooping at the Ak-Sar-Ben track, this time with his friend Stu Erickson.[3] Back in Washington, he found a new friend to go to the racetrack with, someone who could advance his handicapping skills. Bob Dwyer, his high school golf coach, a potbellied, enterprising young man, made far more than his teacher's stipend by selling life insurance and ice chests and other things during the summer when school was out.[4] The other members of the golf team viewed Dwyer as tough and crusty, but he took a shine to Warren, who had a way about him and played enthusiastically despite his glasses always fogging up.

One day Warren asked Dwyer to take him to the races. His coach said he needed permission. "The next morning," Dwyer says, "bright and early, he came prancing in with a note from his mother, saying it was all right to go to the races." So Dwyer wrote Warren some phony excuse to get out of class[5] and then they took the Chesapeake & Ohio from Silver Spring, Maryland, over to the racetrack in Charleston, West Virginia. Going to the races with a teacher polished Warren's sophistication about handicapping. Dwyer taught Warren advanced skills in reading the most important tip sheet, the *Daily Racing Form.*

"I'd get the Daily Racing Form ahead of time and figure out the probability of each horse winning the race. Then I would compare those percentages to the odds. But I wouldn't look at the odds first, to avoid prejudicing myself. Sometimes you would find a horse where the odds were way, way off from the actual probability. You figure the horse has a ten percent chance of winning but it's going off at fifteen to one.[*9]

"The less sophisticated the track, the better. You have people betting on the jockey's colors, and you have

them betting on their birthdays, you have them betting on the horses' names. And the trick, of course, is to be in a group where practically no one is analytical and you have a lot of data. So I would study the forms like crazy when I was a kid."

One grade behind Warren at Woodrow Wilson but slightly older, Bill Gray went to a few horse races with him. "He was very sharp with numbers. Very talkative.[6] Very outgoing. We would discuss baseball, batting averages, sports.[7]

"He knew which horses he was going to pick the minute he got off the train. He would go down to the track and say, well, this horse is too much weight, or this horse, where he's come in the last few races has not been good enough, or his times are not good enough. He knew how to judge the horses." Warren made six-to ten-dollar bets, sometimes on the nose.[*10] He only bet big if the odds looked good, but he had a way of risking some of his hard-earned paper-route money on the right horse. "He might change his mind as the different races came forward," says Gray. "But for a sixteen-year-old, that's not so common, you know?"

Then one time, Warren went to Charleston by himself. And he lost in the first race. But he didn't go home. He kept on betting and he kept on losing, until he had lost more than $175 and his pockets were stripped nearly bare.

"I came back. I went to the Hot Shoppe, and I treated myself to the biggest thing they offered—a giant fudge sundae or something—and there went all the rest of my money. While I ate, I figured out how many newspapers I had to deliver to make up what I had lost. I was going to have to work more than a week to make back the money. And I'd done it for dumb reasons.

"You're not supposed to bet every race. I'd committed the worst sin, which is that you get behind and you think you've got to break even that day. The first rule is that nobody goes home after the first race, and the second rule is that you don't have to make it back the way you lost it. That is so fundamental, you know."

Did he realize that he'd made an emotional decision?

"Oh, yeah. Oh, I was sick. It was the last time I ever did anything like that."

14

The Elephant

Philadelphia • 1947–1949

Warren graduated sixteenth out of 350 in his high school class, putting "future stockbroker" under his picture in the yearbook.[1] The first thing he and Danly did with their freedom was to go in together and buy a used hearse. Warren parked the hearse in front of the house and used it to take a girl out on a date.[2] When Howard came home later, he asked, "Who put that hearse out here?" Then Leila said one of their neighbors was gravely ill, and she was *not* having a hearse in front of the house. That was the end of the hearse.

While he and Don were selling the hearse, Warren gave up his paper routes and got a summer job as a relief circulation manager for the *Times-Herald,* moving up in the world. Whenever he had to substitute for his paper carriers, he rose at four a.m., and delivered the papers from a little Ford coupe he borrowed from David Brown, a young man from Fredericksburg who had a crush on Doris and who had gone into the Navy.[3] Standing on the running board of the car with the door open, he coasted at about fifteen miles an hour, one hand reaching inside the car to hold on to the wheel, the other hand grabbing the papers and pitching them

onto the subscribers' lawns. He rationalized that at such an early hour of the morning, nothing too terrible was likely to result from driving the car that way.[4]

Afterward he stopped by the Toddle House at four forty-five a.m. to treat himself to a double order of hash browns with paprika for breakfast. Then he went on to his second job, distributing papers at Georgetown University Hospital.

"I had to give the priests and nuns about a half a dozen papers free, which always irritated me no end. I thought they weren't supposed to be interested in secular things. But this was part of the deal. And then I went room by room, ward by ward.

"After they had the baby, the women in the obstetrics ward would see me come in and say, 'Oh, Warren! I'm going to give you something more valuable than a cash tip. I'm going to tell you when my baby was born and how much it weighed. Eight thirty-one a.m., six pounds and eleven ounces.'" The babies' birth times and weights were meant for betting on the "policy racket," the numbers game in Washington.[5]

Warren ground his teeth whenever he got useless information instead of a cash tip. As a handicapper, he would never have played the policy racket. The odds were terrible. *"The policy racket paid off six hundred to one, and the guy that was your runner got ten percent of it. So you have a five hundred forty-to-one payoff on what was a thousand-to-one shot, basically. People made penny bets and dime bets. If you put a penny up, you might win $5.40 net. And everybody in town played. Some of my newspaper delivery customers used to ask me, 'Do you run policy numbers?' I never did. My dad would not have approved if I'd become a policy runner."*

He was already a good enough oddsmaker to work in Vegas, but he probably would not have bet on the next thing his father did. Howard Buffett voted for a bill that actually *passed,* joining 330 other Congressmen who made the Taft-Hartley Act law over President Truman's veto. One of the most controversial pieces of legislation ever enacted in the United States, the 1947 Taft-Hartley Act severely restricted the tactics used by labor unions. It made it illegal for them to support one another through secondary strikes and authorized U.S. Presidents to declare a national emergency and force striking workers back to work. It was referred to as a "slave labor" bill.[6] Omaha was, of course, a union town, but it would never have occurred to Howard to vote according to his constituents' preferences; he always voted his principles.

So when the Buffetts went home to Omaha for a visit during the summer, and Warren went to a hometown baseball game with his father, he saw just how unpopular Howard had become among the blue-collar voters. *"They introduced the dignitaries in between the doubleheader. And he stood up and everybody in the place started booing. He just stood there and didn't say anything. He could handle things like that. But you just can't imagine the effect that has on a kid."*

Even the mildest forms of confrontation terrified him. But soon he would be standing on his own, out from under his father's wing. At almost seventeen, Warren was barely a kid. One year older and a few years earlier he might have been fighting in the war.

Instead of the military, in the fall he was starting college. The Buffetts had long taken for granted that Warren would attend the University of Pennsylvania's Wharton business school.[7] Wharton was the nation's most important undergraduate business college and Penn the brainchild of Benjamin Franklin, creator of aphorisms like "he that goes a'borrowing goes a'sorrowing," "time is money," and "a penny saved is a penny earned." In theory, Penn and Warren, who had the energy of two people and hustled like a stevedore while other kids played, were a perfect fit.

However, Warren would have just as soon skipped the whole thing. *"What was the point?"* he asked himself. *"I knew what I wanted to do. I was making enough money to live on. College was only going to slow me down."* But he would never have defied his father on something so important, so he acquiesced.

Knowing their son's immaturity, the Buffetts arranged a roommate for him who was the son of some friends

from Omaha. Five years older, Chuck Peterson had just returned from eighteen months' service in the war. He was a handsome young man-about-town, dating a different girl every night, and *drinking*. Naively, the Petersons supposed that Warren might settle Chuck down, while the Buffetts reckoned that an older boy might help Warren adjust to college.

In the fall of 1947, the entire family piled into the car and drove Warren to Philadelphia, where they deposited him and his raccoon coat in a little dormitory suite with a shared bathroom. Chuck had already moved in, but was out on a date somewhere.

As the Buffetts drove away to return to Washington, they left their son at a campus filled with people much like Chuck. An army of World War II veterans marched across College Green and filled the Quad, the centers of Penn university life. Their worldliness widened by years the gap Warren had felt between himself and his classmates ever since moving to Washington. On an organized, busy, social campus, his baggy T-shirts and worn tennis shoes stood out among the purposeful men dressed in sports coats and polished oxfords. Penn was a football powerhouse; its fall social life revolved around football dates, followed by fraternity parties. Warren loved sports, but the social requirements were beyond him. He was used to spending much of his time honing ideas, counting his money, organizing his collections, and playing music in the privacy of his room. At Penn, his solitude battered by the sixteen hundred flirting, necking, jitterbugging, keg-tapping, football-tossing members of the Class of 1951,[8] he was a butterfly in a beehive.

The bees reacted much as expected to the butterfly that had flown into their midst. Chuck retained his military tidiness and the habit of constantly polishing his shoes. When he met his new roommate, Warren's disgraceful wardrobe shocked him. He soon discovered that the way Warren dressed symptomized something else. Just as Leila waited hand and foot on Howard and did all the work around the house, Warren had never been taught the most basic ways of taking care of himself.

Chuck stayed out late socializing as usual his first evening after they met. The next morning, he woke late to find the bathroom in a mess and his new roommate gone to early classes. When he saw Warren that evening, he said, "Clean up after yourself, will you?" "Okay, Chas-o," Warren said. "I came in this morning and you left a razor lying at the bottom of the sink," Chuck went on. "You left soap all over the sink, the towels were on the floor, and it's sloppier than hell. I like things neat." Warren appeared to agree. "Okay, Chas-o, okay, Chas-o," he said.

The next morning, when Chuck got up, he stepped through sodden towels on the bathroom floor to find tiny damp hairs covering the sink, and a brand-new, soaking-wet electric razor lying in the basin, tethered to the outlet in the wall by its cord. "Warren, lookit," said Chuck that evening. "Unplug the damn thing. Somebody's going to get electrocuted. I'm not going to pick it up out of the sink every morning. You're driving me nuts with your sloppiness." "Okay, okay, fine, Chas-o," said Warren.

The next day was exactly as before, the razor lying in the sink. Chuck realized that his words were bouncing off Warren's head. He lost his temper and decided to take action. He unplugged the razor, filled the sink with water, and threw the razor in.

The following morning, Warren had bought a new razor, plugged it in, and left the bathroom in the same state as before.

Chas-o gave up. He was living in a pigsty with a hyperactive teenager who hopped around in constant motion, drumming his hands, beating them on every nearby surface. Warren was obsessed with Al Jolson and played Jolson records day and night.[9] He sang, over and over, imitating Jolson: "Mammy, my little Mammy, I'd walk a million miles for one of your smiles, my Mammy!"[10]

Chuck needed to study, and he could not hear himself think inside the suite. Warren, on the other hand, had plenty of time to sing. He hadn't bought a lot of textbooks, but he had read the ones he bought at the beginning of the semester, before classes started, the way someone else might flip through a *Life* magazine. Then he threw them aside and never opened them again. This left him all night long to sing "Mammy" if he

felt like it. Chuck thought he was going mad. Warren knew he was immature, but he couldn't help it.

"I probably wouldn't have fit in very well anyplace at that time. I was still out of sync with the world. But I was also younger than anybody else, and, on top of that, I was young for my age in many ways. I really didn't fit in socially."

Chuck's social life, on the other hand, was in full swing; he had pledged Alpha Tau Omega. Warren had little interest in Greek life but pledged his father's fraternity, Alpha Sigma Phi. It was not a jock house nor particularly brutal, but the rituals of pledging turned him red-faced. The secret motto of Alpha Sig was *zeal, humility, courage.*[11] Warren had plenty of the first two, but courage was his Achilles' heel. When the pledges were sent to Wanamaker's to buy extra-large women's panties and brassieres, he circled the underwear department for a looooong time before facing the snickering coed salesgirls.[12]

That fall, Leila and Doris struggled to describe Warren's crew-cut, slightly bucktoothed appearance truthfully on a radio show in Washington called Coffee with Congress.

Host: Incidentally, is Warren good-looking?

Leila: He was good-looking as a small child. He's just boyish—I wouldn't call him good-looking, but he's not poor-looking either.

Host: He's handsome-looking.

Leila: No, not handsome, just friendly.

Host: Let's take the girls' angle: Is he a cute boy?

Doris *(diplomatically)*: I think he has a rugged sort of look.[13]

Despite the drumming and the "Mammy" singing, Chuck came to be fond of Warren, viewing him as a sort of goofy kid brother, although he still could not believe his roommate continued to wear beat-up Keds throughout the winter, and even when dressed up, was likely to wear one black shoe and one brown shoe without noticing.

Like many people who met Warren, Chuck began to feel the urge to take care of him. They had lunch together at the Student Union a couple of times a week. Warren always ordered the same thing: a minute steak, hash browns, and a Pepsi. Then he discovered chocolate sundaes topped with malted-milk powder and had those every day too. One day after lunch Chuck took Warren over to the new Ping-Pong table that had just been installed in the Student Union. After four years in Washington, Warren was so rusty that Chuck got the impression he had never played Ping-Pong. In the first couple of games Warren could just about return Chuck's serve. Chuck won easily.

Within a day or two, however, Warren played like a demon. The first thing every morning, he got up, went straight over to the Student Union, found a hapless victim, and slaughtered him at the Ping-Pong table. Before long, he was playing Ping-Pong three or four hours at a stretch every afternoon. Chuck could no longer hold his own. "I was his first victim at Penn," he recalls. But Ping-Pong kept Warren out of the suite and away from the record player while Chuck was studying.[14]

Ping-Pong, however, did not fulfill Penn's physical-education requirement. Rowing and sculling on the Schuylkill River were two of Penn's most popular sports. Gaily painted boathouses belonging to the school's many rowing clubs lined the riverbanks. Warren went out for the 150-pound freshman crew with the Vesper Boat Club. He rowed on a team of eight oarsmen guided by a coxswain. Rowing was repetitious and rhythmic, like weight lifting, basketball, golf, Ping-Pong, and his game of bolo, all activities that Warren enjoyed—but it was a team sport. Warren liked to shoot a basketball in his driveway because you could practice alone. He had never succeeded at team sports or learned to dance with a partner. He had been the

leader of every stunt or business venture in which he had ever been involved. He couldn't play the part of the echo.

"It was miserable. The thing about crew is, you can't coast or fake it. You have to put your oar in the water at exactly the same time as everybody else. You can be unbelievably tired but you have to match the pace, and it must be done in unison. It's an incredibly grueling sport." He came back to the dorm every afternoon sweating, head bowed, hands bloodied and blistered, and dropped crew as soon as he could.

Warren was looking for a different kind of team. He wanted Chuck to sell used golf balls with him, but Chuck was too busy trying to study and maintain his social life. Warren also suggested that Chuck join him in a pinball business. He didn't need Chuck's money or labor, and it wasn't even clear what Chuck's role would be. But Warren, a one-man bandwagon, wanted someone to whom he could talk about his businesses, always and endlessly. If Chuck became a partner, it would make him part of Warren's world.

He had always been good at this Tom Sawyering, but for once, he failed with Chuck. Still, he wanted Chuck as a friend as well as a business partner. He invited Chuck to visit him in Washington. Leila was astonished when Chuck ate everything she offered him, even oatmeal. "Warren won't eat anything," she said. "He won't eat this, he won't eat that. He always makes me fix something special for him." Chuck was amused to find that Warren had his mother so well trained.

To Chuck, Warren seemed an odd mix of immature kid and brilliant prodigy. In many of his classes, he simply memorized what the professor said, not needing to look at a textbook.[15] He flaunted obnoxious feats of memory by quoting page numbers and passages back in class and correcting his teachers on their text citations.[16] "You forgot the comma," he said to one.[17]

In an accounting course, the proctors had not even finished passing out the exam papers to the two-hundred-odd students when Warren, showing off, stood up and turned in his paper. He was done. Chuck, sitting on the other side of the room, was frustrated. Wharton was no picnic; a quarter of the class would flunk out. But Warren cruised through with no apparent effort, leaving him as much time as he wanted to drum his hands and sing Mammy, my little Mammy, all night long.

Chuck liked Warren well enough, but it all finally got to him.

"He moved out on me. One morning I woke up and Chuck was gone."[18]

At term's end that summer, Warren—who would never have thought he'd actually be glad to return to Washington—went home. Leila was in Omaha helping Howard campaign for reelection. So the Buffett kids, who had rarely gotten any relief from their parents' austere regimen, experienced a glorious summer of freedom. Bertie was a camp counselor. Doris had a job at Garfinkel's, where she was shocked that the store asked your religion on the job application and blacks could shop only on the first floor, where no clothing was sold.[19]

Washington was then the most segregated city in the United States. Blacks could not work as streetcar conductors or motormen or at anything other than the most menial jobs. They could not enter the YMCA, eat in most restaurants, rent hotel rooms, or buy theater tickets. Dark-skinned diplomats had to be chaperoned, embarrassed and scandalized by a provincialism like no place else in the world. "I would rather be an Untouchable in the Hindu caste system than a Negro in Washington," one foreign visitor said.[20] The *Washington Post,* referred to by some right-wingers as "The Uptown Communist Sheet," had been on a crusade about racism for some time,[21] and President Truman had desegregated the military and was pushing for civil-rights reforms. But change was slow.

Warren, who did not read the liberal *Post,* paid little attention to Washington's racism. He was both unaware and immature, too absorbed in his own insecurity, his stunts, and his businesses. He returned that summer to his duties as relief circulation manager for the conservative *Times-Herald.* He still had the borrowed Ford and once again used it to deliver papers if he had to fill in for one of his paperboys, using the running board

technique he had perfected earlier. He also reunited with his pal Don Danly. They thought about buying a fire engine together as their latest stunt, but instead found a 1928 Springfield Rolls-Royce Phantom I Brewster coupe for $350 in a junkyard in Baltimore. It was gray, weighed more than a Lincoln Continental, and was adorned with little bud vases. The car had two sets of instruments, so the lady in back—the employer—could see how fast the chauffeur was driving. The starter was broken, so Don and Warren took turns cranking it until it finally started up, then they drove it the fifty miles or so back to Washington. It belched smoke, leaked oil, and lacked taillights and license plates, but when they were stopped by a cop, Warren kept "talking and talking and talking" until he wiggled their way out of a ticket.[22]

They put the Rolls in the garage underneath the Buffett house and started the motor up. The house immediately filled with acrid smoke, so they pulled it back out and up the steep driveway onto the street. They worked on it Saturday after Saturday. "Danly did all the work," according to Doris, tinkering with the pipes and doing the welding, "and Warren watched admiringly and encouraged it along."

When they decided to paint the car, Don and his girlfriend, Norma Thurston, bought something called a Pad-o-Paint, which smeared on the color with a sponge. They painted the car dark blue; it looked really good to them. [23] Naturally, word had gotten around, so they rented it out, thirty-five bucks a pop.

Then Warren had an idea for a stunt. He wanted to be seen in the car. Danly dressed up like a chauffeur, Warren put on the raccoon coat, and the two cranked and cranked to start the car, then drove downtown with platinum-blond Norma. As Danly lunged about under the hood, pretending to fix the motor, Warren directed him with a cane and Norma draped herself over the hood like a movie star. "It was Warren's idea," says Norma. "He was the more theatrical one. We were going to see how many people would look at us."

Norma knew that Warren had never really dated in high school and needed help with girls, so she set him up with her cousin, Bobbie Worley. They dated chastely that summer, going to movies and playing bridge, Warren barraging her with an endless series of brainteasers and riddles.[24]

When fall came, he left Bobbie behind and returned to Penn as an eighteen-year-old sophomore. He now had two roommates, his fraternity brother Clyde Reighard and a freshman who was assigned to them, George Oesmann. The year before, he had Tom Sawyered Clyde into acting as the front man for a business venture that went nowhere, but during their short-lived partnership, the two had become friends.

Warren had not changed much since his freshman year, but he had much more in common with Clyde than he had with Chuck Peterson. Clyde was amused by Warren's tennis shoes and T-shirts and dirty khaki pants, and he took it in stride when Warren needled and taunted him about his grades. While "he didn't make me any smarter," says Reighard, "he did make me use what I had more efficiently." Indeed, Warren was a master at using what he had efficiently, his own time especially. He rose early in the morning, ate chicken salad at the dorm for breakfast, then headed off to classes.[25] After sleepwalking through his freshman year, he had finally found one class he liked: Professor Hockenberry's Industry 101, which discussed different industries and the nuts and bolts of running a business. *"It was textiles, it was steel, it was petroleum. I can still remember that book. I got a lot of stuff from it. I can remember talking about the laws of capture in petroleum, and the Bessemer processes in steel. I devoured that book. That was really interesting to me."* But his suitemate Harry Beja, a grind who sweated through Hockenberry's class alongside Warren, resented the way he tobogganed ahead effortlessly.[26]

It was the same in business law, taught by Professor Cataldo, who *"had very close to a photographic mind. He would quote cases at length. I can still remember Hadley versus Baxendale and Kemble versus Farren. So I would do the same thing back to him on the exams, which entertained him to no end. I would quote from his stuff in answering questions, whether applicable or not. And he just ate it up."*

Helped by his prodigious memory, Warren was free to do as he pleased for much of the day. At lunchtime, he dropped by the Alpha Sig house, an old three-story mansion with a spiral staircase, where Kelsen, the black houseman, cooked, cleaned, and, in his white jacket, gave the place a degree of dignity. A bridge game went on twenty-four hours a day in a corner alcove, and Warren would sit down and play a few hands.[27] His taste

for practical jokes continued unabated. He occasionally enlisted one of his fraternity brothers, Lenny Farina, to pose for attention-getting photographs out on the street while he pretended to pick Lenny's pocket or shine his shoes.[28]

Meanwhile, in a scam reminiscent of sending poor old Kerlin into a water trap naked wearing a gas mask, he and Clyde had told their third roommate, George, that he looked "run-down and puny and would never attract girls unless he developed muscles." They finally maneuvered George into buying himself some barbells. *"And then we used to bang these barbells up and down while Harry Beja was studying down below. We had great fun taunting him by banging these barbells on the floor."*[29]

By college, however, the evidence had become convincing. Warren had begun to give up on the idea of becoming a strongman. *"After a while, I decided my bones were wrong. My clavicles were not long enough. It's your clavicles that determine how broad-shouldered you'll be, and you can't do much about your clavicles. That's why I got disgusted and eventually quit. I decided that if I was going to have girl-like muscles anyway, then to hell with it."*

Girl-like muscles did not attract girls, and Warren had still not gone out on any dates since he arrived at Penn. Saturdays were big fraternity party days, with prefootball luncheons and postgame cocktail parties, dinners, and evening dances. Warren wrote a letter to Bobbie Worley, asking her to come up for a weekend and saying, in effect, that he had fallen in love. Bobbie liked him and was touched by his letter, but did not return his feelings. She would have enjoyed the weekend but said no because she felt it was wrong to lead him on.[30]

Warren had one date, with Ann Beck, a Bryn Mawr girl. He had worked at her father's bakery shortly after moving to Washington, when he was in eighth grade and she was "just a little girl with long blond hair." Ann had been voted the most bashful girl at her high school, and the day she and Warren spent together was like a shyness contest: They walked around Philadelphia in awkward silence.[31] *"We were probably the two shyest people in the whole United States."* Warren had no idea how to make small talk; when stressed, he emitted small grunts instead.[32]

Sometimes Warren and Clyde took the borrowed Ford coupe and drove off to the suburbs in search of movies about mummies, Frankenstein, vampires, or anything macabre.[33] Since hardly anybody had a car at that time, his fraternity brothers were impressed.[34] That was the irony: Warren was the only one with a car to make out in, but nobody to make out with. He passed on the Ivy Ball and the Inter-Fraternity Ball. He always skipped the Alpha Sig Sunday tea dances and never had a date at the fraternity house.[35] His face would flush and he would stare at his shoes if anyone talked about sex.[36] He was out of his element at such a hard-partying school, where the college fight song was "Drink a Highball."

"I tried drinking because I was in a fraternity where about half my dues were going to buy alcohol for these parties. I felt I was getting screwed. But I just didn't like the taste. I don't like beer. And I can behave silly enough without it. I mean, I was right there with the rest—the drinkers didn't have anything on me when it came to being silly."

But even without a date on his arm or a glass in his hand, Warren sometimes showed up at his fraternity's Saturday night parties. He was able to draw a little crowd by sitting in a corner and lecturing on the stock market. He had a wit and an arresting way of talking. His Alpha Sig brothers deferred to his opinion when it came to money and business; they respected his deep, if one-sided, knowledge of politics. They decided he had some "politician in him" and gave him a paddle with his nickname: the Senator.[37]

Warren had joined the Young Republicans as a freshman because he was attracted to a girl who was a member. But instead of becoming her boyfriend, he became the group's president when he was a sophomore. Warren took over at an exciting time—the fall of a presidential election year. In 1948, the Republicans were supporting Thomas F. Dewey against the weak incumbent Harry Truman, who had become President on FDR's death.

The Buffetts had grown to hate Truman. Though he had created what was known as the "Truman Doctrine" of containment, which was meant to prevent the spread of Communism, Howard, like many conservatives, felt that Truman and General George C. Marshall, his Secretary of State, were playing palsy-walsy with Soviet premier Stalin.[38] Moreover, Truman had implemented the Marshall Plan, which sent eighteen million tons of food to Europe after World War II, and Howard was one of seventy-four Congressmen who had voted against it. Convinced that the Marshall Plan was another version of Operation Rat Hole and that the Democrats were wrecking the economy, Howard started buying gold chain bracelets for his daughters so they could feed themselves when the day came that the dollar was worthless.

Howard was running for reelection to his fourth term that year. Even though Warren had been present when Howard was hissed and booed after he'd voted for passage of the Taft-Hartley "slave labor" bill, he, like the rest of the family, considered Howard's Congressional seat relatively safe. Nonetheless, Howard had placed his reelection in the hands of a campaign manager for the first time—family friend Dr. William Thompson. Well-known and admired in Omaha, Thompson knew the pulse of the town and was a psychologist to boot. Day after day as the campaign progressed, people in Omaha would come up and say, "Congratulations, Howard, you're in again, and I worked for you," as if the election were over.

Dewey, too, appeared to be a shoo-in. The polls showed that Truman was trailing him badly—in fact, so badly that the Roper organization, a polling research firm, simply stopped taking polls. Truman ignored this, and for months had been traveling around the country speaking from the back of his train on a "whistle-stop" tour, advocating what he called his "Fair Deal" policy: universal health insurance, broad-based civil-rights legislation, and the repeal of Taft-Hartley. He had whistle-stopped in Omaha, marched in a parade, and dedicated a park, looking as cheerful as if he hadn't read the newspapers predicting his defeat.[39]

As Election Day approached, in happy anticipation of his father's reelection and of Dewey's victory, Warren made arrangements with the Philadelphia Zoo to ride an elephant down Woodland Avenue on November 3. He envisioned it as a sort of triumphal march, like Hannibal entering Sardinia.

But on the morning after Election Day, Warren had to cancel his stunt. Not only had Truman won the 1948 election, but his father had lost. The voters had thrown Howard Buffett out of Congress. *"I'd never ridden an elephant before. When Truman beat Dewey, the elephant went down the tube. And my dad lost an election for the first time in four campaigns. That was a really lousy day."*

* * *

Two months later, just a few days before the Buffetts left Washington at the end of Howard's term, Warren's great-uncle Frank died. Frank had boomed "IT'S GOING TO ZERO!" about every stock down at Harris Upham when Warren was a boy, and when his will was read, the family discovered that he owned government bonds and nothing else.[40] He had outlived "the gold-digger," and the terms of his will placed the bonds in a restricted trust that required that, upon maturing, they could only be reinvested in more U.S. government bonds. As if to convince his nephew and trustee, Howard, Frank had also apparently left various family members subscriptions to *Baxter's Letter,* a doomsday sheet that preached that government bonds were the only safe investment. Frank meant to be at peace in the afterlife, the only Buffett (so far) to arrange that his opinions would resound from the grave.

But Howard, of course, dreaded inflation and believed that government bonds could turn into worthless paper. Overcoming his scruples, he went to work to break the terms of Frank's will and got a judge to approve some technical changes so the money could eventually be invested in stocks.[41]

These events took place during what Leila called the "worst winter in years." Blizzards buried the Midwest and hay had to be airlifted to Nebraska from surrounding states for weeks during the freeze to keep the snowbound livestock from dying on their feet.[42] The winter of the haylift became emblematic of the Truman victory. Howard, who had never gotten rich, now had two kids in college and another about to start. He went

back to work at his old firm, now known as Buffett-Falk, but his partner Carl Falk, who had been handling his clients during his absence in Washington, was not interested in sharing them now. Striding around downtown Omaha with the bitter snow pelting his face, Howard tried to drum up new clients. But his long absence meant that his writings were the way most people knew him now, and articles like "Human Freedom Rests on Gold Redeemable Money" had given him the reputation of an extremist.[43] In the spring of 1949, he went out into the countryside and knocked on farmhouse doors in search of a new clientele.[44]

As for Warren, his father's defeat left him heartsick, but also offered him an excuse for leaving the East Coast. He was bored at school and hated Philadelphia so much that he had nicknamed it "Filthy-delphia."[45]

At the end of the spring semester he headed back home for good, so relieved that he signed his letters "Ex-Wharton Buffett." He rationalized this by saying that enrolling at the University of Nebraska in Lincoln, where he would spend the last years of his college career, would be cheaper than Penn.[46] He gave the little Ford coupe back to David Brown, its tires threadbare. It was Brown's problem to figure out how to replace them, since tires were still rationed.[47] Warren wanted only one memento of Penn. On the way out the door, he and Clyde flipped a coin to see who got to keep their treasured copy of S.J. Simon's *Why You Lose at Bridge*. Warren won.

15

The Interview

Lincoln and Chicago • 1949–Summer 1950

The first thing Warren did on returning to Nebraska in that summer of 1949 was get a job in newspapers, managing country circulation for the *Lincoln Journal*. He and his friend Truman Wood, who was Doris's boyfriend, went halves on a car. Warren felt comfortable in Lincoln, going to university classes in the morning, then driving around managing his route in the afternoon. In his spare moments he called on the local newspaper editors and talked business, politics, and journalism. Supervising rural paperboys was a serious job, for he was now the boss. Fifty young boys in six rural counties reported to "Mr. Buffett." The challenges of management suddenly became clear when he hired a minister's daughter in the town of Beatrice, thinking she would be a responsible paper carrier. The three paperboys in Beatrice promptly quit: He'd turned it into a sissy job.

Warren spent part of his time that summer in Omaha, selling men's furnishings at JC Penney's. His spirits had begun to revive. He bought a ukulele to compete with the uke-playing boyfriend of a girl he was pursuing, but wound up holding only the ukulele instead of the girl.

Penney's, however, was a good place to work. The employees put on an unofficial pep rally in the basement every morning where Warren, clad in a cheap suit, played his new ukulele—off the clock—while everyone sang, before heading off to his seventy-five-cents-an-hour job in men's furnishings. Penney's called him back over the Christmas holidays, improbably putting him to work selling menswear and Towncraft shirts. Looking at racks filled with products about as comprehensible to him as a French restaurant menu, he asked his manager what to tell the customers about the clothes. "Just tell them it's a sort of worsted," Mr. Lanford said. "Nobody knows what a worsted is." Warren never did learn what a worsted was, but at JC Penney's he sold nothing but.[*11]

In the fall, he had moved into a furnished house on Pepper Avenue in Lincoln, which he shared with Truman Wood, and started full time at the University of Nebraska. He liked the teachers better than at Penn and he enrolled with a heavy course load, studying accounting with Ray Dein, the best professor he had had thus far.

That year Warren revived his golf ball business, this time with a college friend from Penn, Jerry Orans, as a partner. He would drive down to the Omaha train station and pick up the golf balls from his old supplier, Half-Witek.[1] Orans acted as his East Coast distributor, but in fact Warren had always wanted partners for the sake of partnership alone; in every business venture, he looked to friends to partner with him. (Needless to say, in Warren's partnerships, he was always the senior partner.) He was also investing and got the idea of shorting stock in the automaker Kaiser-Frazer. This company produced its first cars in 1947, but saw its share of the auto market fall from nearly one out of every twenty cars to fewer than one out of every hundred in less than a year. "Dear Pop," he wrote his father on Nebraska Cornhusker stationery. "If there isn't a trend line apparent in those percentages, I'm no statistician." Kaiser-Frazer had lost $8 million during the first six months, "so even with phony bookkeeping the loss will probably run more."[2] He and Howard shorted the stock together.

Back at school, he went down to the broker Cruttenden-Podesta's office and asked a stockbroker, Bob Soener, where the stock was trading. Soener looked at the chalkboard and said, "Five bucks." Warren explained that he had shorted the stock, borrowing shares to sell. If the price dropped, as he expected, he could buy the stock back, return the shares, and keep the difference. Since Warren thought Kaiser-Frazer was going bust, if he had sold the shares at five bucks, he could buy them back for pennies and make nearly five dollars on each share.

I'll show this young whippersnapper, thought Soener. "You're not old enough to short a stock legally," he said. "Oh yes," Warren said, "I did it in my older sister Doris's name." He explained why the stock was going to zero and laid out the evidence.[3] "And he cut my feet right out from under me," says Soener. "I had no retort whatsoever."

Warren waited for the Kaiser-Frazer idea to work. And waited. He started hanging around Cruttenden-Podesta while he waited. He was convinced the idea would work. It was so obvious that Kaiser-Frazer would eventually go broke. Meanwhile, he and Soener became friends.

In the spring of 1950, Warren was close to finishing college. After three years of study, he only needed to take a few classes at summer school to graduate. And then he made a decision that completely reversed his path to date. After high school he had felt fully qualified to achieve his goal of becoming a millionaire by age thirty-five with no further education. But now that he was close to graduating, at the point when most people are done studying and ready to go to work, Warren prepared to put work aside. He had fixed his ambitions on attending the Harvard Business School. Throughout his entire educational history he had shown little interest in formal schooling—as opposed to learning—and considered himself largely self-taught. Harvard, however, offered him two important things: prestige and a network of future connections. He had just seen his father thrown out of Congress and his career as a stockbroker crushed, in part because he had tended to isolate himself by sacrificing relationships for the sake of rigid ideals. So perhaps it was not surprising that Warren chose Harvard.

He was so certain that Harvard would choose him that he was already urging his friend "Big Jerry" Orans to "Join me at Harvard."[4] Furthermore, he wasn't even going to have to pay for all of his tuition.

*"One day I read in the Daily Nebraskan a little item that said, 'The John E. Miller Scholarship will be awarded today.[5] Applicants should go to Room 300 at the Business Administration building.' And it provided five hundred dollars[*12] to go to the accredited school of your choice.*

"I went to Room 300, and I was the only guy who showed up. The three professors there kept wanting to wait. I said, 'No, no. It was three o'clock.' So I won the scholarship without doing anything."

Enriched with this nugget mined from the college newspaper, Warren rose in the middle of the night to catch the train to Chicago, where his Harvard interview would take place. He was nineteen, two years younger than the average college graduate, and younger still than the average business-school student. His grades were good but not stellar. Despite being the son of a U.S. Congressman, he was using no connections to try to get

into Harvard. Since Howard Buffett scratched no backs, his own back went unscratched, and his son's as well.

Warren was relying on his knowledge of stocks to make a good impression in the interview. So far his experience had been that whenever he started talking about stocks, people could not help but listen. His relatives, his teachers, his parents' friends, his fellow students—all wanted to hear him discourse on this subject.

But he had misunderstood Harvard's mission, which was to turn out leaders. When he arrived in Chicago and introduced himself to the interviewer, the man saw past his confidence as a prodigy in a single subject straight through to his self-consciousness, his shaky inner core. *"I looked about sixteen and emotionally was about nine. I spent ten minutes with the Harvard alumnus who was doing the interview, and he assessed my capabilities and turned me down."*

Warren never got the chance to show off his knowledge of stocks. The man from Harvard told him gently that he would have a better chance in a few years. Warren was naive; it did not quite sink in what this meant. When the letter arrived from Harvard refusing him admission, he was shocked. His first thought, he says, was, "What am I going to tell my dad?"

Awkward and stiff-necked he might be, but Howard was undemanding of his children. The Harvard dream was Warren's, not his father's. Howard was accustomed to failure and resolute in defeat. The real question must have been: What am I going to tell my mom?

These conversations took place, but their memory has drained away. And yet Warren would later come to consider his rejection by Harvard the pivotal episode of his life.

Almost immediately, he started investigating other graduate schools. While leafing through the Columbia catalog one day, he came across two names that were familiar to him: Benjamin Graham and David Dodd.

"These were big names to me. I'd just read Graham's book, but I had no idea he was teaching at Columbia."

"Graham's book" was *The Intelligent Investor,* published in 1949.[6] This book of "practical counsel" for all types of investors—the cautious (or "defensive") and speculative (or "enterprising")—blew apart the conventions of Wall Street, overturning what had heretofore been largely uninformed speculation in stocks. It explained for the first time in a way that ordinary people could understand that the stock market does not operate through black magic. Through examples of real stocks such as the Northern Pacific Railway and the American-Hawaiian Steamship Company, Graham illustrated a rational, mathematical approach to valuing stocks. Investing, he said, should be *systematic*.

The book had mesmerized Warren. For years, he had been going downtown to the library and checking out every book available on stocks and investing. Many of the books dealt with stock-picking systems based on models and patterns; Warren wanted a system, something that would work reliably. He had been fascinated by numerical patterns—technical analysis.

"I read all of them over and over. The book that probably had the most influence on me was Garfield Drew, who wrote an important book about odd-lot stock trading.[7] *I read that about three times. I read Edwards and McGee, which is the bible of technical analysis.*[8] *I would go down to the library and just clean them out."* But when he found *The Intelligent Investor,* he read and reread it. "It was almost like he found a god," said Truman Wood, his housemate.[9] After careful study and thought, he had gone ahead and made a "value" investment on his own. Through a connection of his father's, he had heard of a company called Parkersburg Rig & Reel, which he researched according to Graham's rules. He bought two hundred shares.[10]

According to the catalog Warren had now picked up, the man who had become his favorite author, Ben Graham, was lecturing in finance at Columbia University. And David Dodd was there too. Dodd was

associate dean of the Graduate School of Business, and head of the department of finance. In 1934 Graham and Dodd had coauthored the seminal text on investing, *Security Analysis. The Intelligent Investor* was the layman's version of *Security Analysis.* Enrolling at Columbia would mean he could study with Graham and Dodd. And as Columbia's catalog pointed out: "No other city in the world offers as many opportunities to become acquainted at firsthand with the actual conduct of business. Here a student may come into personal contact with the outstanding leaders of American business, many of whom give generously of their time to take part in seminars, institutes, and conferences…. Business establishments of the city cheerfully welcome groups of students as visitors."[11] Even Harvard could not offer this.

Warren now determined that he would go to Columbia. But it was almost too late.

"I wrote in August, about a month before school started, way past when you were supposed to do it. Who knows what I wrote? I probably wrote that I just found this catalog at the University of Omaha, and it said that you and Ben Graham taught, whereas I thought you guys were on Mount Olympus someplace just smiling down on the rest of us. And if I can get in, I'd love to come. I'm sure it was not a very conventional application. It was probably fairly personal."

But in a written application, however unconventional, Warren could shape the impression he made more successfully than in a personal interview. The application wound up on the desk of David Dodd, who as associate dean was in charge of admissions. By 1950, after teaching at Columbia for twenty-seven years, Dodd had effectively become the junior partner of the famous Benjamin Graham.

A thin, frail, balding man who cared for a disabled wife at home, Dodd was the son of a Presbyterian minister and eight years older than Warren's father. While Dodd may have been touched in some way by the personal nature of the application, it was also true that at Columbia, he and Graham were more interested in their students' aptitude for business and investing than their emotional maturity. Graham and Dodd were not trying to create leaders. They taught a specialized craft.

Whatever the reason, after the deadline, and without an interview, Warren was accepted by Columbia.

16

Strike One

New York City • Fall 1950

Warren arrived in New York City alone. The only person he knew there was his aunt Dorothy Stahl, widow of the revered Marion Stahl. Otherwise, the motherly women to whom he usually attached himself were unavailable. His teachers and classmates at the business school would consist almost entirely of men. Unlike Penn, where his family had been only a couple of hours away, he was on his own. And his father was once again immersed in politics, running to regain his seat in Congress—this time managing the campaign himself. But even if he won, New York was a long way from Washington.

Warren had applied to Columbia too late to get into a university dorm, so he found the cheapest lodgings available: joining the YMCA for a dime a day and paying a dollar a day for a room at the Y's Sloane House on West 34th Street, down near Penn Station.[1] He was far from broke, enriched by $500 from the Miller scholarship and $2,000 from Howard, a graduation gift and part of a deal not to start smoking.[2] He also had $9,803.70 saved, some of it placed in stocks.[3] His net worth included $44 in cash, his half interest in the car, and $334 invested in his Half-Witek golf ball business. But since Warren looked at every dollar as ten dollars someday, he wasn't going to hand over a dollar more than he needed to spend. Every penny was another

snowflake for his snowball.

On his first day in David Dodd's class, "Finance 111–112: Investment management and security analysis," he recalls that Dodd broke his customary reserve and greeted him personally and warmly. Warren had already more or less memorized the course textbook, *Security Analysis,* Graham and Dodd's seminal book on investing.[4] As the principal drafter and organizer of *Security Analysis,* Dodd was of course intimately familiar with its contents. Yet when it came to the text itself, Buffett says, *"The truth was that I knew the book even better than Dodd. I could quote from any part of it. At that time, literally, almost in those whole seven or eight hundred pages, I knew every example. I had just sopped it up. And you can imagine the effect that would have on the guy, that somebody was that keen on his book."*

Published in 1934, *Security Analysis* was a mammoth textbook for serious students of the market, laying out in much more detail the innovative concepts that were later summarized for a popular audience in *The Intelligent Investor.* Dodd had taken meticulous notes at Ben Graham's lectures and seminars for four years, organizing them and enriching the examples with his own knowledge of corporate finance and accounting. He structured the book and proofread the galleys from his summer home on rustic Chebeague Island in Maine's Casco Bay, in between golf games and mackerel-fishing tournaments.[5] He described his role modestly: "The genius was [Graham's], supplemented by long experience of a distinguished character, and exceptional literary talent. My most important role was to be a devil's advocate on a variety of issues where I thought he had got himself out on a limb."[6]

Dodd's class focused on valuing defaulted railroad bonds. Since childhood, Warren had been slightly obsessed with trains, and, of course, thanks to the long, checkered, and colorful history of the Union Pacific, Omaha was practically the center of the universe when it came to bankrupt railroads.[7] Warren had read his favorite book on bonds, Townsend's *Bond Salesmanship,* for the first time at the age of seven after making a special plea to Santa Claus for this tome.[8] Now he took to the subject of bankrupt railroad bonds like a duck to the warm spring rain. Unsurprisingly, Dodd showed an unusual interest in him, introducing him to his family and taking him to dinner. Warren soaked up the fatherly attention and also felt sympathy for Dodd, who cared for his mentally ill wife.

In class, Dodd would ask a question and Warren's arm would shoot into the air before anyone else's, waving for attention. He knew the answer every time, wanted to give it, was not afraid of attention, and did not mind looking silly. Nor did he seem to be showing off, as a classmate recalled; he was simply young, eager, and immature.[9]

Unlike Warren, most of his Columbia classmates had little interest in stocks and bonds and were probably bored by this mandatory class. They were a remarkably homogenous group of men,[10] mostly headed to General Motors, IBM, or U.S. Steel after they got their degrees.

One of them, Bob Dunn, was on his way to becoming the academic star of the class of 1951. Warren admired his presence and intelligence and often went over to the dorm to visit him. One afternoon, in the other room of Dunn's two-room suite, Fred Stanback found himself wakened from a nap by a loud voice. Half asleep, he began to realize that the voice was saying such interesting things that he didn't want to doze off again. Rising from his bunk, he wandered into the next room. There he found a crew-cut, badly dressed kid, rattling a mile a minute, who leaned forward in his seat as if a starting gun were poised behind his head. Stanback plopped down in a chair and began to listen to Warren, who was declaiming with great authority about some undervalued stocks he'd found.

It was clear Warren had already immersed himself in the stock market. He talked about a clutch of tiny companies, including Tyer Rubber Company and Sargent & Co., which made locks, and a somewhat larger business, hardware wholesaler Marshall-Wells.[11] Listening, Stanback became an instant disciple. He went out straightaway and bought stocks for the first time in his life.

Stanback was the son of a live-wire salesman who had gotten rich peddling envelopes of headache powder

and "SnapBack Stimulant Powders"—full of caffeine—from the back seat of a Model T Ford.[12] Fred Jr. grew up, analytical and reserved, on Confederate Avenue in the tiny hamlet of Salisbury, North Carolina. He was a born audience for Warren. The two started spending time together—a fast-talking, scrawny-looking kid and a sandy-blond handsome young man with a molasses voice. One day Warren had an idea. He asked Professor Dodd's permission to cut class to attend the annual meeting of Marshall-Wells. A few months before starting at Columbia, he and Howard had jointly bought twenty-five shares of this stock.

"Marshall-Wells was this wholesale hardware company up in Duluth, Minnesota. That was the first annual meeting I ever attended. They held their meeting in Jersey City, New Jersey, probably so fewer shareholders would attend."

Warren's vision of shareholder meetings rose from his conception of the nature of a business. He had recently sold his tenant farm, doubling his money over five years. During the time he had owned it, he and his tenant farmer had shared the profits on the crop. But his tenant didn't share the profits from selling the land. As the capitalist, Warren put up the money and took the risk, and then he got the gain, if there was any.

Warren thought of all businesses this way. The employees who managed the business shared in the earnings that their labors produced. But they were accountable to their owners, and it was the owners who got the gains as the value of the business increased. Of course, if the employees bought stock themselves, they became owners, too, and partners with the other capitalists. But no matter how much stock they owned, as employees their job required them to report to the owners on how well they had done. Thus, Warren saw a shareholder meeting as a time of accounting for the stewardship of the managers.

This vision was rarely shared by company managements, however.

Warren and his new friend Stanback took the train to Jersey City. Arriving in a drab meeting room on an upper floor of the Corporation Trust Company, they found half a dozen people awaiting a session in which the company planned to shuffle through an agenda of legal obligations in a perfunctory fashion. Paradoxically, management's indifference and shareholder negligence both worked on Warren's behalf, for the fewer folks came to the show, the more valuable would be whatever knowledge he could wrest from the company.[13]

One of those few was Walter Schloss, a thirty-four-year-old man who was working for the pittance of fifty dollars a week as one of four employees of Ben Graham's company, the Graham-Newman Corporation.[14] As the meeting began, Schloss starting asking pointed questions of management. He was a bantamweight, mild-mannered, dark-haired man from a family of New York Jewish immigrants, but he probably struck the Marshall-Wells crowd as abrupt by the standards of Duluth. "They were a little upset," says Stanback, "that these outsiders were barging in on their meeting. They'd never had anybody come to their meeting before, and they didn't like that."[15]

Warren was immediately taken with Schloss's approach, and when Schloss identified himself as working for Graham-Newman, he reacted as though at a family reunion. As soon as the meeting ended, Warren approached Schloss and they began to talk. He found him a man after his own heart, a believer that wealth is hard to accumulate and easy to lose. Schloss's grandfather had dallied away his hours in New York City at the Harmonie Club, leaving his apparel company in the charge of a bookkeeper who—as custodian of the money and the records—applied himself to using the latter to embezzle the former. Next, his father had set up a radio factory with a partner. The warehouse burned down under suspicious circumstances before a single radio was sold. Then, when Walter was thirteen, his mother lost her inheritance in the crash of 1929.

The Schloss family got by through perspiration and determination. Walter's father got a job as a factory manager, then sold stamps. Fresh out of high school in 1934, Walter worked as a Wall Street runner—a member of the Pony Express of the brokerage firms—carrying messages up and down the street. Next, working in the company's "cage" handling securities, he had asked his boss if he could analyze stocks. The answer was no—but, he was told, "There's a fellow named Ben Graham who's just written a book called *Security Analysis.* Read that book and you won't need anything else."[16]

Schloss read Graham's book cover to cover and wanted more. Two nights a week from five to seven, he started going to the New York Institute of Finance, where Graham taught investing. Graham had begun these seminars in 1927 as trial runs for a college course he was thinking of teaching at Columbia. At the time, the public couldn't get enough of stocks, and the class was packed. "Although I warned my students that any stocks mentioned were for illustration only and under no circumstances were to be taken as recommendations to buy, it did happen that some of the issues I discussed as undervalued subsequently enjoyed substantial advances," he said, in something of an understatement.[17]

When Graham mentioned names of stocks he was currently buying, people like Gustave Levy, the head trader at Goldman Sachs, scurried back to act on these ideas and make their firms and themselves rich. Schloss was so captivated that he wound up as one of a couple of employees working for his idol, Ben Graham, and his partner, Jerry Newman. Warren found himself instinctively drawn to Walter, not just for his enviable job but also because of the story of his gritty, disadvantaged background. At the Marshall-Wells meeting, Warren also recognized another shareholder by his barrel-shouldered, cigar-smoking profile. This was Louis Green, a well-known investor who was a partner in a small but respected securities firm, Stryker & Brown, and an ally of Ben Graham's.[18] Together, Green, Graham, and Jerry Newman hunted for companies whose stock was cheaper than a warehouse full of stale Barbecubes dog biscuits. They tried to buy enough stock to get elected to the board of directors and thus influence management.

Warren was mightily impressed by Lou Green and wanted to make a good impression, so he struck up a conversation with him, and he and Stanback and Green rode back together on the train from New Jersey. Green offered to take the two young men to lunch.

That was like hitting the jackpot. Warren discovered Green was tightfisted, a man after his own heart. *"This guy was enormously wealthy, and we went to some cafeteria or something like that."*

At lunch Green began explaining what it was like to be pursued by women who were after his money. As he was somewhat past middle age, his technique for dealing with this was to confront the woman's motives directly: "You like these false teeth? How about my bald head? Or the pot belly?" Warren was enjoying the conversation, until Green suddenly changed the subject and put him on the spot.

"He said to me, 'Why did you buy Marshall-Wells?'

"And I said, 'Because Ben Graham bought it.'"

True, Graham was already his hero, even though the two had never met. And since the inspiration for buying Marshall-Wells had indeed come from *Security Analysis,* Warren may have felt he had to be scrupulous about how he had learned of it.[19] But, in fact, he had good reason to own Marshall-Wells beyond its mention in *Security Analysis.*

Reputedly the largest hardware wholesaler in North America, Marshall-Wells was earning so much money that if it had paid out those earnings to shareholders as a dividend, they would have gotten $62 a share. The stock traded at around $200 a share. Owning a Marshall-Wells share was something like owning a bond, one that paid thirty-one percent interest (the $62 earnings on a $200 share). At that rate, in three years, Warren would have nearly two dollars of value for every dollar he had invested in Marshall-Wells. Even if the company didn't pay the money out, the stock would have to rise eventually.

You would be crazy to pass up such a stock.

But Warren did not explain any of this to Lou Green. Instead, he said, *"'Because Ben Graham bought it.'*

"Lou looked at me and said, 'Strike one!'

"I'll never forget the way he looked at me when he said it."

It dawned on him: "Warren, think for yourself." He felt foolish.

"We're sitting in this little cafeteria, I'm with this impressive character, and all of a sudden I'm striking out."

He did not want to make any more mistakes like this, and he did want to find more stocks like Marshall-Wells, so as Graham's seminar approached, Warren started memorizing everything he could find out about Ben Graham's method, his books, his specific investments, and Graham himself. He had learned that Graham was chairman of the board of a company called Government Employees Insurance Company, or GEICO.[20] This stock was not mentioned in *Security Analysis.* When he looked in the *Moody's Manual,* he found that the Graham-Newman Corporation had owned fifty-five percent of it but had recently given out the stock to its shareholders.[21]

What was this GEICO? Warren was curious. So on a cold, wintry Saturday morning a few weeks later, he jumped on the earliest train to Washington, D.C., and showed up at GEICO's door. No one was about, but a guard answered his knock. As he recalls, Warren asked in his humblest manner whether anyone was there who might explain GEICO's business to him. He made sure to mention that he was a student of Ben Graham's.

The guard trotted upstairs to the office where GEICO's financial vice president, Lorimer Davidson, sat working. Faced with this request, Davidson thought to himself that "being a pupil of Ben's, I would give him five minutes and thank him, find a polite way of sending him on his way."[22] He told the guard to show Warren in.

Warren introduced himself to Davidson with precise but flattering sincerity: *"'My name is Warren Buffett. I'm a student at Columbia. Ben Graham is going to be, probably, my professor. I read his book, and I think he's wonderful. And I noticed that he's the chairman of Government Employees Insurance. I don't know anything about it, but I wanted to come here and learn.'"*

Davidson started talking to Warren about the arcane business of auto insurance, thinking that out of kindness to a pupil of Graham's, he would waste a few minutes of his valuable time. But, he said, "After about ten to twelve minutes of his questions, I realized that I was talking to a highly unusual young man. The questions he was asking me were the questions that would have been asked by an experienced insurance-stock analyst. His follow-up questions were professional. He was young, and he looked young. He described himself as a student, but he was talking like a man who had been around a long time, and he knew a great deal. When my opinion of Warren changed, I began asking *him* questions. And I found out that he had been a successful businessman at age sixteen. That he had filed his own income tax at age fourteen and every year since then. That he had had a number of small businesses."

Lorimer Davidson had accomplished so much himself that he was hard to impress. "Davy," as he was universally known, had been a mediocre student, but, he says, "Almost from the time I was ten, eleven years old, I knew what I wanted to do. I wanted to be just what my father was. I never thought of any other business [than being a bond salesman]." He saw Wall Street as Mecca, "the ultimate place."

In 1924 Davidson had made $1,800 in commissions in his first week selling bonds. Over time, he began to play the stock market using borrowed money, trading "Radio," the Radio Corporation of America, or RCA. In July 1929, he "shorted" Radio, which was trading at an absurd price, betting that it would go down. But absurd prices can become even more absurd, and when the stock went up another 150 points, Davidson lost everything. Then, when the market crashed on October 29, he had to forget his pregnant wife and the loss of every cent he'd ever made in order to navigate the horror his clients now faced. He and his colleagues stayed up until five a.m. calling their accounts. Almost without exception, they, too, had traded on borrowed money.

At first the clients came up with the cash to repay their loans. Market seers and government officials kept saying stocks would quickly rebound. They got the velocity right but the direction all wrong. With each

succeeding wave of "margin" calls, half of Davidson's remaining clients were wiped out, unable to pay their debts, forfeiting their accounts. Davidson, who had been pocketing an incredible $100,000 a year in commissions before the crash,[23] was soon making about $100 a week selling bonds—and considering himself well off. "It was a pretty sorry sight," he recalled of those Depression years, "to see an old friend, married with children, very successful, and now he has to work to get a nickel for an apple" selling fruit at the corner of Wall and Broad.

It was through his job selling bonds that Davy happened to call on the Government Employees Insurance Company. When he found out how GEICO worked, he was instantly captivated.

GEICO sought to make auto insurance cheaper by marketing through the mail without an agent.[24] That was a revolutionary concept at the time. To make it work, GEICO needed a rule that would allow it to avoid the folks who drive thirty miles over the speed limit after downing half a bottle of tequila at three a.m.[25] Borrowing an idea from a company called USAA that sold only to military officers, GEICO's founders, Leo Goodwin and Cleves Rhea, had decided to sell its insurance only to government employees because, like military officers, they were responsible individuals who were accustomed to following the law. Better still, there were a lot of them. Thus, the Government Employees Insurance Company was born.

Later, the Rhea family had hired Davidson to sell their stock, since they were based in Texas and no longer wanted to commute. While putting together a syndicate of buyers, he approached Graham-Newman Corporation in New York. Ben Graham was interested but deferred to his gruff partner, Jerry Newman. "Jerry thought that to buy something at the offering price was illegal. He said, 'I never bought anything at the offering price before; I'm not going to start now,'" Davidson said.

They dickered. Davidson brought Jerry Newman around to investing $1 million for fifty-five percent of the company, with some modest concessions. Ben Graham became chairman of GEICO, and Newman joined its board. Six or seven months later, Lorimer Davidson told GEICO's CEO Leo Goodwin that he would take a pay cut to work for GEICO, managing its investments. Goodwin consulted with Ben Graham, who agreed.

Hearing this story from Davidson, Warren was fascinated. *"I just kept asking questions about insurance and GEICO. He didn't go to lunch that day—he just sat there and talked to me for four hours like I was the most important person in the world. When he opened that door to me, he opened the door to the insurance world."*

Now, the door to the insurance world is one most people would rather stayed firmly nailed shut. But insurance was taught in business schools, Warren had studied it at Penn, and there was an aspect of it a little like gambling that intrigued the oddsmaker in him. He had become interested in an insurance scheme called a tontine, in which people pool their money and the last survivor gets the whole pot. But tontines were now illegal.[26]

Warren had even considered actuarial science—the mathematics of insurance—as a career. He could have spent decades toiling over tables of mortality statistics, handicapping people's life expectancies. Besides the obvious ways this suited his personality—which tended toward specialization; relished memorizing, collecting, and manipulating numbers; and preferred solitude—working as a life actuary would have let him spend his time pondering one of his two favorite preoccupations: life expectancy.

However, his other favorite, collecting money, had won out.

Warren was starting to grapple with the fundamental concept of business: How do companies *make money*? A company was much like a person. It had to go out and find a way to keep a roof over its employees' and shareholders' heads.

He grasped that because GEICO sold insurance at the cheapest price, the only way it could make money would be to have the lowest possible costs. He also learned that insurance companies take their customers' premiums and invest them long before the claims are paid. That sounded to him like getting to use somebody

else's money for free, just the kind of idea that appealed to him.

GEICO seemed to Warren a no-lose proposition.

That Monday, less than forty-eight hours after he arrived back in New York, Warren dumped stocks worth three-quarters of his growing portfolio and used the cash to buy 350 shares of GEICO. It was an extraordinary move for the normally cautious young man.

That was especially true because, at its current price, GEICO was an investment that Ben Graham would not have approved of, even though Graham-Newman had only recently become its largest shareholder. Graham's idea was to buy stocks trading for less than the value of their assets, and he did not believe in concentrating in just a few stocks. But Warren was amazed by what he had learned from Lorimer Davidson. GEICO was growing so fast that he felt confident of being able to predict what it would be worth in a few years. On that basis, it was cheap. He wrote a report about it for his father's stockbrokerage firm, saying that GEICO was trading at $42 per share, a multiple of about eight times its recent earnings per share. Other insurance companies, he noted, were selling at much higher multiples of their earnings. Yet GEICO was a small company in a large field, whereas its competitors were companies "whose growth possibilities have largely been exhausted." Warren then made a conservative projection of the company's value in five years. He thought the stock would be worth between $80 and $90 per share.[27]

A less Graham-like analysis could hardly be imagined. Graham's 1920s bubble and Depression experiences had made him suspicious of earnings projections, so suspicious that while he paid lip service to this method of valuation in his teaching, he never used it himself in valuing stocks to buy for his firm. But Warren was betting three-quarters of his patiently accumulated money on the numbers he had calculated.

In April, he wrote to Geyer & Co. and Blythe and Company, the most prominent brokerage firms specializing in insurance stocks, asking for their research. Next he visited these experts to talk to them about GEICO. After he heard their views, he explained his own theory.

They told Warren he was nuts.

GEICO, they said, could not succeed over the larger, more established companies that used agents. It was a tiny company, with a market share of less than one percent. Huge insurance companies with thousands of agents dominated the industry, and so it would ever be. Yet here was GEICO, growing like a dandelion in June and printing money like the U.S. Mint.

Warren didn't understand why they couldn't see what was right before their eyes.

17

Mount Everest

New York City • Spring 1951

As his second semester began at Columbia, Warren hummed with excitement. His father had just been reelected to Congress for a fourth time—by the largest majority yet—and he was finally going to meet his hero.

In his memoir, Ben Graham describes himself as a loner who never had an intimate friend after high school: "I was cut out to be everybody's friend but no one's bosom pal or crony."[1] *"Nobody cracked his shell. Men all admired him, they all liked him, and they all wanted to be his friend more than he wanted them to be.*

You came away feeling terrific about him, but you never got to be his pal." Buffett would later call this Graham's "protective coating." Even his partner David Dodd never became an intimate. Graham had great difficulty in understanding and empathizing with others. People found him almost painful to talk to—so cerebral, so erudite, so clever. He was not relaxing to be around; people had to keep their wits about them all the time in his company. While he was always kind, he quickly tired of conversing with his fellow human beings; the "real friends and intimates" of his life were his favorite authors—Gibbon, Virgil, Milton, Lessing—and their subjects, which, he said, "had far more significance for me and left a greater impression on my memory than the living people around me."

Born Benjamin Grossbaum,[2] Graham passed his first twenty-five years in a period when the country experienced four financial panics and three depressions.[3] His family's fortune dwindled after his father's death when Ben was nine; his worldly, ambitious mother lost most of her own small stake in the stock-market panic of 1907, and she wound up having to pawn her jewelry. One of Graham's earliest memories was standing at a bank teller window, trying to cash his mother's check as the teller audibly asked a colleague whether Mrs. Grossbaum was good for five dollars. During this time, Graham recalled, the family was saved through the charity of relatives "from misery, though not from humiliation."[4]

Nonetheless, Ben excelled throughout his education in the New York City public schools, where he read Victor Hugo in French, Goethe in German, Homer in Greek, and Virgil in Latin. Upon graduation, he wanted to attend Columbia University but needed financial aid. When the scholarship examiner visited the Grossbaums, he turned Ben down. Ben's mother was convinced that he did so because the family still clung to a few Louis XVI chairs and some other fine pieces of furniture, despite its reduced circumstances. Ben, however, was sure the examiner had detected a "secret deformity" in his soul: "For years I had been struggling against something the French call *mauvaises habitudes* [bad habits, a euphemism for masturbation], and which a combination of innate puritanism on my part and the hair-raising health tracts prevalent in those days had raised to a moral and physical issue of enormous proportions."[5]

Graham and his bad habits wound up at tuition-free City College, bereft and broke, convinced that a degree from this school would not advance him in the snobbish, cultivated world to which he aspired. The last straw came when two borrowed books were stolen from his locker and he had to pay to replace them. He had no pocket money at all. He dropped out, got a job assembling doorbells, and recited the *Aeneid* and the *Rubáiyát* to himself as he worked. Eventually, he reapplied to Columbia and this time was given the scholarship that had earlier been denied him—through a clerical error, it turned out. At Columbia, he became an academic star, even while working at a variety of menial jobs to help pay his expenses. Checking waybills, he would mentally compose sonnets for distraction. On graduation, he turned down a scholarship to law school as well as offers from three different departments—to teach philosophy, mathematics, and English—in order to follow his dean's advice and go into the advertising business.[6]

Graham's sense of humor always tended toward irony. His first effort at writing a jingle for the nonflammable cleaning fluid Carbona was rejected as too frightening to customers when he produced this limerick:

There was a young girl from Winona
Who never had heard of Carbona
She started to clean
With a can of benzene
And now her poor parents bemoan her.

After this episode, Columbia's Dean Keppel recommended Graham for a job at the brokerage house Newburger, Henderson & Loeb. Graham said of Wall Street, "I knew it only by hearsay and in novels as a place of drama and excitement. I felt the urge to participate in its mysterious rituals and momentous events."

He started in 1914 on the bottom rung of the Wall Street ladder, earning $12 a week as a runner. Then he worked as an assistant board boy, scurrying to and fro in a customer's room, changing stock prices on a chalkboard. Graham parlayed these jobs into a career through a classic Wall Street maneuver: He did research on the side, until one day a floor broker gave a report he had written—negatively appraising the

bonds of the Missouri Pacific Railroad—to a partner at Bache & Company, which hired him as a statistician.[7] Later, he returned to Newburger, Henderson & Loeb as a partner, where he remained until 1923. Then, a group of financial backers, including members of the Rosenwald family (early partners in Sears), lured him away by providing him with starting capital of $250,000, which enabled him to go out on his own.

Graham closed this business in 1925 when he and his backers disagreed over his compensation, and established the "Benjamin Graham Joint Account" on January 1, 1926, with $450,000 from clients and his own money. Shortly afterward, Jerome Newman, the brother of one of his clients, offered to make an investment in the firm and join Graham as a partner at no salary until he learned the business and added value. Graham, however, insisted on paying him, modestly at first, and Newman brought to the partnership a broad general knowledge of business as well as management skills.

In 1932, Graham wrote a series of articles in *Forbes,* "Is American Business Worth More Dead Than Alive?" in which he chastised company managements for sitting on troves of cash and investments, and investors for overlooking this value, which was not reflected in the prices of stocks. Graham knew how to dislodge the value, but his problem was capital. Through its stock-market losses, the firm's account was down from $2.5 million to $375,000.[*13] Graham felt responsible for recouping his partners' losses, but that meant he would have to more than triple their money. It would take some doing even to keep the Joint Account alive. Jerry Newman's father-in-law saved it by putting in $50,000. And by December 1935, Graham did triple the money, and earned the losses back.

For tax reasons, in 1936 Graham and Newman reorganized the Joint Account into two businesses—Graham-Newman Corporation, and Newman & Graham.[8] Graham-Newman charged a fixed fee and had issued shares to the public which now traded on an exchange. Newman & Graham was a "hedge fund," or private partnership with a limited number of sophisticated partners, that paid Graham and Newman based on their performance as managers.

The two men remained partners for thirty years, although in his memoir, Graham cited Jerry Newman's "lack of amiability," his demanding, impatient, and fault-finding personality, and his inclination to be "too tough" in negotiation. Newman, said Graham, was "far from popular, even among his friends, of whom he had many," and "had numerous quarrels with close associates," which he always made up in the end. He and Graham got along because of Graham's protective coating; other people's behavior never seemed to disturb Graham's equanimity.

The one exception to this was Graham's penchant for taking on established business figures in a fight. Through diligent research digging through a report published by the Interstate Commerce Commission, he had discovered that Northern Pipeline, an oil transmission company whose stock sold for $65, owned railroad bonds worth $95 per share in addition to its pipeline assets. However, the Rockefeller Foundation, which controlled the stock, was doing nothing to release the value of the railroad bonds to shareholders. The stock traded at a depressed price that did not reflect the value of the bonds, so Graham began quietly accumulating shares until his firm became the largest owner after the Rockefeller Foundation. Then he pushed for the bonds to be distributed to the shareholders. Northern Pipeline's management, who had come from Standard Oil when it was broken up in 1911, gave him a runaround. It said the company needed to keep the bonds in order to be able to pay for replacing the aging pipeline someday. But Graham knew better. Finally, the managers simply said: Running a pipeline is a very complex and specialized business, about which you know very little but which we have done for a lifetime. If you don't agree with our policies, why don't you just sell your shares?

But Graham viewed his role as serving all the company's investors, not just himself, and instead of selling, he went down to the shareholders' meeting in remote Oil City, Pennsylvania, where he was the only person who attended other than company employees. He made a motion about the railroad bonds, but the management refused to recognize him because he had brought no one along to second the motion. In its dealings with him, the management also made what he felt were some anti-Semitic innuendos, which hardly inclined him to give up the fight. Over the next year, he bought additional shares, teamed up with other investors, and prepared to

mount a legal battle with management—a proxy fight. By the time of the next shareholders' meeting, he had assembled enough votes to get two additional directors elected to the board, which tilted the balance in favor of distributing the bonds. The company submitted and ended up handing out the equivalent of $110 per share in cash and stock to its shareholders.

The battle became a famous incident on Wall Street, and Graham went on to build the Graham-Newman Corporation into one of the best-known, although far from the largest, investment firms in the business.

He did it even while inflicting a handicap on his own performance. His teaching style used examples taken directly from Graham-Newman's office. Every time he mentioned a stock in the classroom, the students ran out and bought it, pushing up the price and making it more expensive for Graham-Newman to buy. This drove Jerry Newman crazy. Why make the firm's job harder by letting other people in on what they were doing? To make money on Wall Street meant keeping your ideas to yourself. But, as Buffett said, *"Ben didn't really care how much money he had. He wanted to have enough, and he went through that period in '29 to '33 that was very rough. But if he had as much money as he felt he needed, anything else was totally immaterial to him."*

Over the twenty-year life of Graham-Newman Corporation, its performance had beaten the stock market's performance by an average of 2.5 percent a year—a record exceeded by only a handful of people in the history of Wall Street. That percent might sound trifling, but compounded for two decades, it meant that an investor in Graham-Newman wound up with almost sixty-five percent more in his pocket than someone who earned the market's average result. *Much* more important, Graham had achieved this superior performance while taking considerably less risk than someone who simply invested in the stock market as a whole.

And Graham did it mainly through his skill at analyzing numbers. Before him, assessments of a security's value were largely guesswork. Graham developed the first thorough, systematic way of analyzing the value of a stock. He preferred to work by studying only publicly available information—usually a company's financial statements—and rarely attended even public meetings with a company's management.[9] Although his associate Walter Schloss had been at the Marshall-Wells meeting, it was his own idea to go, not Graham's.

Ben's third wife, Estey, drove her husband up to Columbia from the Graham-Newman Corporation's office at 55 Wall Street every Thursday afternoon after the market closed to teach his "seminar on common stock valuation." This course was the culmination of the Columbia finance curriculum, so highly regarded that men who were already working in money management signed up for it, sometimes more than once.

Warren, of course, looked up to Graham with worshipful awe. He had read the Northern Pipeline story over and over when he was ten years old, well before he understood who Benjamin Graham was in the investing world. Now he hoped to bond with his teacher. But outside the classroom, he and Ben had few hobbies in common. Graham dabbled in the arts and sciences in a quest for knowledge, writing poetry, failing spectacularly as a Broadway playwright, and puttering around filling notebooks with ideas for clumsy inventions. He also devoted himself to ballroom dancing, clumping around for years at the Arthur Murray studio, where he danced like a wooden soldier and counted the steps out loud. During dinner parties, Graham often disappeared in the middle of a course to work on mathematical formulas, read Proust (in French), or listen to the opera in solitude, rather than suffer the dull company of his fellow man.[10] "I remember the things I learn," he wrote in his memoir, "rather than the things I live." The one exception where living took precedence over learning was his assignations.

About the only way a human being competed with the classic authors for Graham's attention was to be female and beddable. He was short and physically unimposing, but people had told him that his sensual full lips and penetrating blue eyes reminded them of the actor Edward G. Robinson.[11] There was something elfish-looking about him, and he was not a handsome man. Nonetheless, Graham seemed to be a Mount Everest for women who liked a challenge: they met him and wanted to climb on top.

In his three wives, Graham's taste had ranged wide: from the passionate, strong-willed teacher Hazel Mazur to Broadway showgirl Carol Wade—eighteen years his junior—to his third wife and former secretary, the

intelligent, lighthearted Estelle "Estey" Messing. Complicating all these marriages was his complete indifference to monogamy. Graham later wrote a memoir[12] in which he begins, "Let me describe my first extramarital affair in the soberest fashion," a sobriety he giddily abandons six sentences later as he explains the recipe for his liaison with the sharp-tongued, "by no means beautiful" Jenny: "one part attraction and four parts opportunity." If more attraction was present, he needed less opportunity, making him shameless, even annoying, in his sexual advances toward women he found attractive. Combining two of his hobbies, Graham might dash off a seductive little poem to a woman he fancied on the subway. Yet he was so cerebral that, even for his lovers, it must have been a challenge to hold his attention. The darting from amour to business in the following passage of the memoir is pure Graham:[13]

I have a sentimental memory of the last hour we spent together in the cabin of her Ward Line steamer. (Little did I think then that my firm was later to control that old-established steamship company.)

He drove his wives to distraction with his philandering. But Warren at the time knew nothing about Graham's personal life and was focused only on what he could learn from the brilliant teacher. On the first day of Graham's seminar in January 1951, Warren walked into a smallish classroom containing a long rectangular table. In the middle sat Graham, surrounded by eighteen or twenty men. Most of the other students were older, some of them war veterans. Half were not Columbia students but businessmen who were auditing the course. Once again, Warren was the youngest—yet also the most knowledgeable. When Graham asked a question, inevitably he "would be the first one to have his hand up and immediately start talking," recalls one of his classmates, Jack Alexander.[14] The rest of the class became the audience to a duet.

In 1951, many American businesses were still worth more dead than alive. Graham encouraged his students to use real-life examples from the stock market to illustrate this, down-and-dirty companies such as Greif Bros. Cooperage, a barrel maker whose stock Warren owned. Its main business was slowly disappearing but whose stock was trading at a substantial discount to the cash that could be netted if its properties and inventory were simply sold off and its debts repaid. Eventually, Graham reasoned, that "intrinsic" value would surface the way a river-tossed barrel, trapped under winter ice, pops to the surface in a spring thaw. You had only to interpret the balance sheet, decoding the numbers that proved there was a barrel of money trapped under the ice.

Graham said that a company is no different than a person, who might think that her net worth was $7,000, comprising her house, worth $50,000, less her mortgage of $45,000, plus her other savings of $2,000. Just like people, companies have assets that they own, such as the products they make and sell, and debts—or liabilities—that they owe. If you sold all the assets to pay off the debts, what would be left was the company's equity, or net worth. If someone could buy the stock at a price that valued the company cheaper than its net worth, Graham said, eventually—a tricky word, "eventually"—the stock's price would rise to reflect this *intrinsic value*.[15]

It sounded simple, but the art of security analysis lay in the details—playing detective, probing for what assets were really worth, excavating hidden assets and liabilities, considering what the company could earn—or not earn—and stripping apart the fine print to lay bare the rights of shareholders. Graham's students learned that stocks were not abstract pieces of paper, and their value could be analyzed by figuring what the whole pie of a business was worth, then dividing it into slices.

Complicating matters, however, was that issue of "eventually." Stocks often traded at odds with their *intrinsic value* for long periods of time. An analyst could figure everything right and still appear wrong in the eyes of the market for the investing equivalent of a lifetime. That was why, as well as being a detective, you had to build in what Graham and Dodd called a MARGIN OF SAFETY—that is, plenty of room for error.

Graham's method struck people who studied it in one of two ways. Some grasped it immediately as a fascinating, all-consuming treasure hunt and others recoiled from it as a dreary homework assignment. Warren's reaction was that of a man emerging from the cave in which he had been living all his life, blinking in the sunlight as he perceived reality for the first time.[16] His former concept of a "stock" was derived from the patterns formed by the prices at which pieces of paper traded. Now he saw that those pieces of paper

were simply symbols of an underlying truth. He instantly grasped that the patterns formed by trading these pieces of paper did not signify a "stock" any more than those childhood piles of bottle caps had signified the effervescent, sweet-sour-spicy taste of soda pop that made people crave it. His old notions dissolved in an instant, conquered by Graham's ideas and illuminated by the way he taught.

Graham used all kinds of nifty, effective tricks in his class. He would ask paired questions, one at a time. His students thought they knew the answer to the first, but when the second came along, it made them realize that maybe they didn't. He would put up descriptions of two companies, one in terrible shape, practically bankrupt, another in fine form. After asking the class to analyze them, he would reveal that they were the same company at different times. Everyone was surprised. These were memorable lessons on thinking independently, typical of how his mind worked.

Along with his Company A and Company B teaching method, Graham used to talk about Class 1 and Class 2 truths. Class 1 truths were absolutes. Class 2 truths became truths by conviction. If enough people thought a company's stock was worth X, it became worth X until enough people thought otherwise. Yet that did not affect the stock's intrinsic value—which was a Class 1 truth. Thus, Graham's investing method was not simply about buying stocks cheap. As much as anything it was rooted in an understanding of psychology, enabling its followers to keep their emotions from influencing their decision-making.

From Graham's class, Warren took away three main principles that required nothing more than the stern discipline of mental independence:

• *A stock is the right to own a little piece of a business.* A stock is worth a certain fraction of what you would be willing to pay for the whole business.

• *Use a margin of safety.* Investing is built on estimates and uncertainty. A wide margin of safety ensures that the effects of good decisions are not wiped out by errors. The way to advance, above all, is by not retreating.

• *Mr. Market is your servant, not your master.* Graham postulated a moody character called Mr. Market, who offers to buy and sell stocks every day, often at prices that don't make sense. Mr. Market's moods should not influence *your* view of price. However, from time to time he does offer the chance to buy low and sell high.

Of these points, the margin of safety was most important. A stock might be the right to own a piece of a business, and the intrinsic value of the stock was something you could estimate, but with a margin of safety, you could sleep at night. Graham built in his margin of safety in various ways. As well as buying things for considerably less than he thought they were worth, he never forgot the danger of using debt. And although the 1950s had become one of the most prosperous eras in American history, his early experiences had scarred him and given him the habit of assuming the worst. He looked at business through the lens of his 1932 *Forbes* articles—as worth more dead than alive—thinking of a stock's value mostly in terms of what the company would be worth if dead—that is, shut down and liquidated. Implicitly, Graham was always looking over his shoulder at the 1930s, when so many businesses went into bankruptcy. He kept his firm small in part because he was so risk-averse. And he rarely bought more than a tiny position in any company's stock, no matter how sound the business.[17] This meant the firm owned a large array of stocks that required much tending. While plenty of stocks did sell at prices below the businesses' liquidation value, which made Warren an enthusiastic follower of Graham, he disagreed with his teacher about the need to buy so many stocks. He had cast his lot with one stock: *"Ben would always tell me GEICO was too high. By his standards, it wasn't the right kind of stock to buy. Still, by the end of 1951, I had three-quarters of my net worth or close to it invested in GEICO."* And yet Warren "worshipped" his teacher, even though he had strayed so far from one of Graham's ideas.

As the spring semester wore on, Warren's classmates gradually accepted the routine of the classroom duet. Warren "was a very focused person. He could focus like a spotlight, twenty-four hours a day almost, seven days a week almost. I don't know when he slept," says Jack Alexander.[18] He could quote Graham's examples and come up with examples of his own. He haunted the Columbia library, reading old newspapers for hours on end.

"I would get these papers from 1929. I couldn't get enough of it. I read everything—not just the business and stock-market stories. History is interesting, and there is something about history in a newspaper, just seeing a place, the stories, even the ads, everything. It takes you into a different world, told by somebody who was an eyewitness, and you are really living in that time."

Warren collected information, weeding out biases imposed by other people's way of thinking. He spent hours reading the *Moody's* and *Standard & Poor*'s manuals, looking for stocks. But it was the weekly Graham seminar that he looked forward to more than anything else he did. He even convinced his disciple Fred Stanback to come in and audit a class or two.

While the chemistry between Warren and his teacher was obvious to everyone else in the class, one student in particular had taken note of him. Bill Ruane, a stockbroker at Kidder, Peabody, had found his way to Graham through his alma mater, Harvard Business School, after reading two important and memorable books—*Where Are the Customers' Yachts?* and *Security Analysis.* Ruane loved telling tales about his stockbroking job, though he swore that his first choice of career was working as an elevator boy at the Plaza Hotel, a future derailed by a lengthy wait for a uniform.[19] He and Warren had connected immediately. But neither Ruane, nor any other of Graham's students, nor Warren himself, ever had the temerity to try to see Graham outside the seminar room. Warren did manage to find reasons, however, to drop in on his new acquaintance, Walter Schloss, down at the Graham-Newman Corporation.[20] He got to know Schloss better and learned he was caring for a wife who had been suffering from depression throughout most of their marriage.[21] Schloss, like David Dodd, appeared to be remarkably loyal and steadfast, qualities that Buffett sought out in people. He also envied Schloss his job; he would have cleaned the washrooms for free in exchange for one of those gray laboratory-style jackets, made of thin cotton, that everyone at Graham-Newman wore to keep from dirtying their shirtsleeves while they filled out the forms that Graham used to test stocks against his investing criteria.[22] Above all, Warren wanted to work for Graham.

As the semester neared an end, the rest of the class was busy finding their futures. Bob Dunn would be heading off to U.S. Steel, possibly the most prestigious corporate job in the United States. Almost every young businessman saw the route to success as working his way up the ladder in a great industrial corporation. In Eisenhower's postwar, post-Depression America, job security was all-important, and Americans believed that institutions—from the government to large corporations—were essentially benevolent. Finding one's cell inside the institutional beehive and learning how to fit in was the normal and expected thing to do.

"I don't think there was one guy in the class that thought about whether U.S. Steel was a good business. I mean, it was a <u>big</u> business, but they weren't thinking about what <u>kind</u> of train they were getting on."

Warren had one goal in mind. He knew he would excel if Graham would hire him. While lacking self-confidence in many things, he had always felt sure-footed in the specialized area of stocks. He proposed himself to Graham for a job at Graham-Newman Corporation. It took audacity to even dream of working for the great man himself, but Warren was audacious. He was, after all, Ben Graham's star student, the only one to earn an A+ in his class. If Walter Schloss could work there, why couldn't he? To clinch the deal, he offered to work for free. He went in and asked for the job with far more confidence than he had felt riding up to Chicago for his interview with the Harvard Business School.

Graham turned him down.

"He was terrific. He just said, 'Lookit, Warren. In Wall Street still, the "white-shoe" firms, the big investment banks, they don't hire Jews. We only have the ability to hire a very few people here. And, therefore, we only hire Jews.' That was true of the two gals in the office and everybody. It was sort of like his version of affirmative action. And the truth is, there was a lot of prejudice against Jews in the fifties. I understood."

Buffett found it impossible to say anything that could be interpreted as critical of Graham, even decades

later. Of course, it must have been incredibly disappointing. Couldn't Graham have made an exception for his star student? Someone it wouldn't cost him anything to employ?

Warren, who idolized his teacher, had to accept that Graham viewed him impersonally, so much so that he would not overrule a principle even for the best student who had ever taken his class. There was no appeal—at least for now. Chagrined, he stayed through graduation, then once again he pulled himself together and stepped aboard a train.

He had two consolations. He would be back in Omaha, where he felt he belonged. And it would be much easier to pursue his love life there, for he had met an Omaha girl and was now smitten. As usual, the girl he wanted was not smitten with him. But this time, he was determined to change her mind.

18

Miss Nebraska

New York City and Omaha • 1950–1952

Warren had always been a washout with girls. He longed to have a girlfriend, but the very things that made him different hindered his quest. *"Nobody was more shy than I was with girls,"* he says. *"But my reaction to that was probably to turn into a talking machine."* When he ran out of words about stocks or politics, he resorted to grunts. He was afraid to ask girls out. He summoned the nerve when a girl occasionally did something that made him think he wouldn't get turned down, but in general his attitude was, "Why would they want to go out with me?" Thus he didn't go on many dates during high school or college. And when he did, something always seemed to go wrong.

On a date to a baseball game with a girl named Jackie Gillian, the high point was hitting a cow with his car on the way home. He took another girl to hit golf balls at a driving range.[1] That didn't fly. Driving a hearse to pick up Barbara Weigand, he says, was "sort of desperate," not a stunt. It may have worked as an icebreaker, but after that, what was there to say? On a date with a shy girl like Ann Beck, he was struck mute; he was so insecure that he had no idea what to do. Girls didn't want to hear about Ben Graham and the margin of safety. If he couldn't get to first base with Bobbie Worley, who had dated him all one summer, what hope did he have? Very little, he thought, and maybe the girls could sense it.

Finally, the summer of 1950 before he went to Columbia, his sister Bertie set him up on a date with her roommate from Northwestern. A round-cheeked kewpie of a brunette named Susan Thompson,[2] she had quickly impressed Bertie, who was a year and a half younger, as a special girl with a knack for understanding people.[3] As soon as Warren met Susie, he was fascinated, but suspected she was too good to be true: *"I bet she was a fake at first. I was intrigued by her and I was pursuing her, but I was determined to find the hole in the dike. I just couldn't believe anybody was really like her."* Susie, however, was not interested in him. She was in love with somebody else.

After Warren went off to Columbia, he read in Earl Wilson's gossip column[4] in the *New York Post* that Miss Nebraska 1949, Vanita Mae Brown, was living at the Webster women's residence[5] and performing with the singer and teen idol Eddie Fisher on a television show.

Vanita had attended the University of Nebraska at the same time as Warren, although she had escaped his notice and aspirations until now. Something about the situation overcame his shyness. Since the glamorous Miss Nebraska was living in New York, he telephoned her at the Webster.

Vanita took the bait. Before long, she and Mr. Omaha had a date. He learned that her upbringing had been nothing like his. She grew up in South Omaha near the stockyards, cleaning chickens at Omaha Cold Storage after school. Her pinup body and girl-next-door face had been her ticket out. She got a job in Omaha as an usherette at the Paramount Theater, then parlayed her love of putting herself on display into victory in a local beauty pageant. *"I think her talent was bedazzling the judges,"* Buffett says. After winning the Miss Nebraska title, she represented the state as Princess Nebraska in the Washington, D.C., Cherry Blossom Festival. From there she moved to New York City, where she was now desperately trying to make it in show business.

Although Warren was not the kind of guy to take a girl to dinner at the Stork Club or a show at the Copacabana, she must have welcomed a hometown face. Soon the two of them were exploring the streets of New York together. Looking to upgrade themselves, they went to Marble Collegiate Church to hear Dr. Norman Vincent Peale, a famous self-improvement writer and speaker. Warren serenaded her with "Sweet Georgia Brown" by ukulele on the bank of the Hudson, toting along cheese sandwiches as riverside picnic fare.

Even though Vanita hated cheese sandwiches,[6] she seemed willing to keep seeing him. He found her so entertaining and quick-witted that talking to her was like playing verbal Ping-Pong.[7] The aura of Technicolor that surrounded her made her magnetizing. Vanita's interest did not delude him, however, about his woefully lacking social skills. With each passing year, he had become more desperate to improve them. He'd seen an ad for a public-speaking course in the Dale Carnegie method. Warren trusted Dale Carnegie, who had already helped him to get along better with people. He went to a Carnegie course in New York with a $100 check in his pocket.

"I went to Dale Carnegie because I was painfully aware of being socially maladjusted. And I went and gave them a check, but then I stopped payment on it because I lost my nerve."

Nor did Warren's social deficiencies augur well for his prospects with Susan Thompson, to whom he had been writing all fall. She was not encouraging, but neither did she tell him outright to stop bothering her. Warren quickly hit on the strategy of befriending Susie's parents as a gateway to their daughter. Over Thanksgiving, he went to Evanston with them for a Northwestern football game. Afterward, the three of them had dinner with Susie, but she ditched them early to go out on a date.[8]

Warren returned to New York after the holiday, discouraged but no less intrigued. He continued to see Vanita. *"She had one of the most imaginative minds I've ever run into,"* he says.

In fact, dating her began to take on an edge of unpredictability and risk. At various times she threatened to go down to Washington when Howard was speaking on the floor of Congress and throw herself at his feet, shrieking, "Your son is the father of my unborn child!" Warren thought she might actually do it. Another time, she created such a scene as they left a movie theater that, unable to listen to it any longer, he hoisted her up and stuffed her, jackknifed, into a wire-mesh trash basket on the street corner. She hung there, suspended and screaming, as he stalked away.[9]

Vanita was beautiful, she was smart, and she was entertaining. She was also dangerous, and Warren knew it was risky to get more involved with her. But there must have been some sort of thrill to it. Dating Vanita was like walking a leopard on a leash to see if it would make a good pet. Yet, *"Vanita could handle herself fine. She had no problem carrying it off. The only question was whether she was going to want to carry it off. You didn't have to worry about her embarrassing you unless she wanted to."*

Once Warren invited her to a dinner at the New York Athletic Club for Frank Matthews, a distinguished lawyer and Secretary of the Navy. Having the beautiful Miss Nebraska on his arm would be a plus. Matthews was Nebraskan, the crowd was full of people worth knowing, and Warren wanted to be known. During the cocktail hour, Vanita made sure he would indeed be talked about. After he introduced her as his date, she corrected him and insisted she was his wife. "I don't know why he does this," she said. "Is he *ashamed* of me? Would *you* be ashamed of me? Every time we go out, he pretends that I'm just his date, and we've been

married."

Finally, Warren realized that even though Vanita could handle herself just fine when she wanted to, *"the truth was that she would always want to embarrass me. She preferred acting that way with me,"* he says, and she did so regularly. Vanita had a fascination about her, however, and had he not had an alternative, there is no telling what would have happened next.[10]

Every time Warren went home to Nebraska, he saw Susan Thompson as much as she allowed, even though it wasn't much. To him she seemed immensely sophisticated, even authoritative, and generous with her emotions. *"Susie was way, way, way more mature than I was,"* he says. He started falling hard for her and disentangling himself from Vanita, even though *"it was obvious I wasn't Number One"*[11] with Susie. *"My intentions were clear,"* he says; *"they just weren't having any effect on her."*

Susan Thompson's family was well known to the Buffetts—in fact it was her father, "Doc Thompson," who had managed Howard's only failed reelection campaign—but in most respects they were as different as could be from Warren's. Susie's mother, Dorothy Thompson, a sweet, tiny woman, warm, genuine, and wise to the world, was known in the family as the "wife who went along." She made sure dinner was on the table at six p.m. sharp and supported the many lives her husband, Dr. William Thompson, led. A smallish, silver-haired peacock of a man who wore bow ties and dressed in three-piece wool suits in lavender or cotton-candy pink or chartreuse, he cut a striking figure and carried himself with the posture of someone who was confident that he was being admired. He came, he said, "from a long line of teachers and preachers," and seemed to want to replicate all their labors at once.[12]

As dean of the College of Arts and Sciences at the University of Omaha, he ran the college while at the same time teaching psychology. As assistant athletic director, he controlled the university athletic programs and directed them with all the gusto of a former football player and sports fanatic. This role made him so prominent that *"every cop in town knew him,"* says Buffett, *"which was a good thing, because of the way he drove."* He also designed IQ tests and psychology tests, and supervised the testing of all the city's schoolchildren.[13] Not content to enjoy a day of rest from bossing people around and testing their children, on Sundays he donned the vestments of an ordained minister and preached v-e-r-y s-l-o-w-l-y in a deep, booming voice at the tiny Irvington Christian Church, where his daughters made up the two-person choir.[14] The rest of the time, he broadcast his political beliefs, which were similar to Howard Buffett's, to anyone who came within the sound of his voice.

Doc Thompson expressed his wishes with a jovial smile while insisting that they be obeyed at once. He talked of the importance of women while expecting them to wait on him. His work revolved around the inner self, but he was noticeably vain. He clung to those he loved, growing nervous when they were out of his sight. A chronically anxious hypochondriac, he often predicted that some sort of disaster would befall anyone he cared about. He lavished affection on those who satisfied his demanding ways.

The Thompsons' older daughter, Dorothy, known as Dottie, was not one of those. According to family lore, during the first few years of Dottie's life, when her father was especially displeased with her, he locked her in a closet.[15] A charitable interpretation would be that the pressure of trying to finish his PhD with a toddler underfoot unhinged him.

Seven years after Dottie's arrival, their second daughter, Susie, was born. Dorothy Thompson, seeing how badly Dottie was responding to her husband's harsh child-rearing methods, supposedly asserted herself to tell him "that one was yours, I'm raising the next."

Susie was sickly from birth. She had allergies and chronic ear infections and endured a dozen ear lancings during her first eighteen months. She suffered through long bouts of rheumatic fever, and her illnesses confined her to the house for four to five months at a time from kindergarten through second grade. She later recalled watching her friends playing outside her window during these periods, while she longed to join them.[16]

Through her many illnesses, the Thompsons constantly comforted, cuddled, and rocked their daughter. Her father doted on her. *"There was nothing in his life remotely approaching her,"* says Warren. *"Susie could do no wrong, but everything that Dottie did was wrong. They were always critical of her."*

A family home movie shows Susie, about age four, shouting, "No!" and ordering around Dottie, age eleven, as they played with a tea set.[17]

When at last Susie was well and no longer a prisoner of her bedroom, she never chose to play sports or games outdoors but was always eager to make friends.[18] It was people she had missed during those long days of illness.

"When you've had pain," Susie later recalled, "the release from it can be totally freeing. It's marvelous. To be free of pain is a great state of being. I learned that at a very young age. Knowing that, you can be very simpleminded about life. And then you get with people and think, boy, people are really fascinating."[19]

As Susie grew older, she retained her girlish round cheeks and a breathy, deceptively childlike voice. During her teens she went to Omaha's Central High, an integrated school with a student body of different faiths and colors, unusual in the 1940s. Even though she was part of a crowd that some considered snobbish, her classmates recall her as having friends among all these groups.[20] Her exuberant warmth and her ethereal way of speaking could come across as "a little phony," even "a little loopy,"[21] but her friends said there wasn't anything phony about her. Her interests ran to speech and performing arts rather than academics. She argued with passion and persuasiveness on the Central High debate team, where people noticed that her politics had strayed far from her father's. She acted charmingly in school plays and sang in a smooth contralto in school operettas and as a mainstay of the choir. Her performance as the sweetly harebrained lead in *Our Hearts Were Young and Gay* so sparkled that her teachers recalled it for years afterward.[22] Indeed, her charm and strength of personality made her "Most Popular," a "lady in waiting" to the school sweetheart, Miss Central, and led her classmates to elect her senior class president.

Susie's first boyfriend was John Gillmore, a quiet, bland boy whom she openly adored. By the time he became her steady at Central High, Gillmore towered over her by almost a foot, but despite her "kittenish" demeanor, she dominated him.[23]

During those years, she also began dating a friendly, intelligent boy she had met at a freshman debate competition. A student at Thomas Jefferson High School in Council Bluffs, Iowa, across the Missouri River from Omaha, Milton Brown was a tall, dark-haired young man with a warm, wide smile. They saw each other several times a week throughout high school.[24] While her close friends were aware of Milt, it was Gillmore who continued to be her steady date for parties and school events.

Susie's father did not approve of Brown, who was the son of an unschooled Russian-Jewish immigrant worker on the Union Pacific Railroad. The three or four times that she dared to bring him to the house, he was made to feel unwelcome by Doc Thompson, who lectured him about FDR and Truman. Susie's father made no secret of his determination to pry his daughter loose from dating a Jew.[25] Like the Buffetts, Doc Thompson had all the prejudices typical of Omaha, where different ethnic and religious groups kept to themselves, and life for a couple of mixed religion would be taxing at best. Yet Susie dared to cross these social lines—while at the same time managing to maintain another life as a conventional, popular high school girl.

Susie navigated these choppy waters until she went to college, when she and Milt headed off to freedom —together—at Northwestern University in Evanston, Illinois. There she roomed with Bertie Buffett, and both pledged sororities. Bertie coasted through her classes, and was immediately crowned as the Phi Delt "Pajama Queen."[26] Susie, a journalism major, had arranged her schedule so that she could see Milt nearly every day.

The two joined the Wildcat Council together and met at the library after he got off one of the several jobs he held after school to pay his tuition.[27] Susie's unconventional choice to openly date a Jewish boy clashed with her life as a typical coed, and members of her sorority forbade her to bring Brown to a dance because he had pledged a Jewish fraternity. Susie, although hurt, did not depledge.[28] But she and Milt began to study Zen Buddhism, looking for a faith that could reflect their common spiritual beliefs.[29]

Knowing nothing of this, Warren made his futile Thanksgiving trip to Evanston, then visited Susie in Omaha over the winter holidays. By then he had made up his mind to pursue her seriously. She had the qualities he'd always looked for in a woman. She described herself as "one of those few fortunate people who grew up with the feeling that I was unconditionally loved. That's the most wonderful gift you can give anyone."[30] But the person she wanted to give her unconditional love to was Milt Brown.

That spring of 1951, Milt was elected sophomore class president and Bertie its vice president. Susie cried every time she opened a letter from home demanding that she break off her relationship with Brown. Bertie could see what was going on, but Susie never confided in her, even though they had grown to be friends.[31] She seemed to have a way of never letting anyone get inside her head. Then, one day as the semester neared an end, the two were sitting in their dorm room when the phone rang. It was Doc Thompson. "Come home *now,*" he commanded. He wanted her away from Milt and he let her know she would not be going back to Northwestern in the fall. Susie collapsed, sobbing, but there was never any appeal of her father's decisions.

After graduating from Columbia that spring, Warren, too, returned to Omaha. He would be living in his parents' home since they were away in Washington, but he would have to spend part of that first summer after his return fulfilling his obligation to the National Guard. Though he wasn't particularly well suited to the Guard, it was better than the alternative—going off to fight in Korea. The Guard required him to attend training camp in La Crosse, Wisconsin, for several weeks every year, however. Training camp did nothing to help him mature.

"In the National Guard, at first, the guys were very suspicious of me because my dad was in Congress. They thought I was going to be some kind of prima donna or something. But that didn't last long.

"It's a very democratic organization. I mean, what you do outside doesn't mean much. To fit in, all you had to do was be willing to read comic books. About an hour after I got there, I was reading comic books. Everybody else was reading comic books, why shouldn't I? My vocabulary shrank to about four words, and you can guess what they were.

"I learned that it pays to hang around with people better than you are, because you will float upward a little bit. And if you hang around with people that behave worse than you, pretty soon you'll start sliding down the pole. It just works that way."

The experience gave Warren incentive to make good on another vow just as soon as he got back from National Guard camp. *"I was terrified of public speaking. You can't believe what I was like if I had to give a talk. I was so terrified that I just couldn't do it. I would throw up. In fact, I arranged my life so that I never had to get up in front of anybody. When I came out here to Omaha after graduating, I saw another ad. And I knew I was going to have to speak in public sometimes. The agony was such that just to get rid of the pain I signed up for the course again."* That was not his only mission: To win the heart of Susan Thompson, he knew he would have to be able to converse with her as well. The odds against succeeding with Susie were long, but he would do anything to improve them, and this summer might be his last chance.

The Dale Carnegie class met down at the Rome Hotel, a favorite of the cattlemen. *"I took a hundred bucks in cash and gave it to Wally Keenan, the instructor, and said, 'Take it before I change my mind.'*

"There were about twenty-five or thirty of us in there. We were all just terrified. We couldn't say our own names. We all stood there and wouldn't talk to each other. Meanwhile, one thing that impressed me was that, after meeting all those people once, Wally could rattle off all our names from memory. He was a good teacher, and he tried to teach us the memory association trick, but I never learned that part.

"They gave us this book of speeches—keynote speech, election speech, lieutenant governor's speech—and we were supposed to deliver these things every week. The way it works is that you learn to get out of yourself. I mean, why should you be able to talk alone with somebody five minutes before and then freeze in front of a group? So they teach you the psychological tricks to overcome this. Some of it is just practice—just doing it and practicing. We really helped each other through. And it worked. That's the most important degree that I have."

Yet Warren could not try out his new skills on Susie, who made herself scarce. Mindful of Doc Thompson's influence over his daughter, Warren showed up every night, ukulele in tow, to romance her father in her stead. *"She would go out with other guys,"* says Buffett, *"and I didn't have anything to do when I would go over there. So I would flirt with him instead, and he and I would talk about things."* Doc Thompson, who loved the summer heat, sat outside on the screened porch on the boiling July nights, dressed in his three-piece pastel wool suit, while Susie was secretly out with Milt. Doc Thompson played the mandolin while Warren sweated and sang, accompanying him on the ukulele.

Warren felt comfortable with Doc Thompson, whose style reminded him of his father's way of holding forth on how the world was going to hell because of the Democrats. Whittaker Chambers's autobiography, *Witness,* describing his conversion from Communist spy to ardent Cold War anti-Communist, had just been released. Warren had read this book with great interest, in part because of its description of the Alger Hiss case. Chambers had accused Hiss of being a Communist spy, an accusation that had been pooh-poohed by people the Buffetts considered political enemies, the Truman crowd. Only Richard Nixon, a young senator on the House Un-American Activities Committee, had pursued Hiss, leading to Hiss's conviction for perjury in January 1950. This was the kind of fodder that Doc Thompson could chew on endlessly. Unlike Howard, however, he also talked about sports. He had no sons, and he thought Warren was the best thing since bubble gum.[32] Warren was smart, Warren was Protestant, Warren was Republican, and, above all, Warren was not Milt Brown.

The support of Bill Thompson was not as much of a plus as it might have seemed. Warren was up against stiff odds in winning Susie's heart. She could overlook his baggy socks and cheap suits; it was the rest that worked against him. He came across to her as a Congressman's son, somebody considered "special," a boy who had every advantage—a graduate degree and a good bit of money—and who was obviously headed for success. He talked about stocks all the time, a subject she cared nothing about. His way of entertaining a date was telling rehearsed jokes, riddles, and brainteasers. That her father liked Warren so much made her think of Warren as an extension of her father's control. Doc Thompson "practically threw Susie at Warren."[33] *"It was two against one,"* says Buffett.

Milt, who needed her, suffered the injustice of being a Jew from literally the wrong side of the tracks. He was all the more attractive because he was the guy her father couldn't stand.

That summer, Brown was working in Council Bluffs. When he got a letter from Northwestern notifying him of a tuition increase, he realized he couldn't afford to go back to Evanston, so he went over to the Buffett house and handed Bertie, his class vice president, a letter saying that he was transferring to the University of Iowa.[34] Susie was enrolling that fall at the University of Omaha, and by then, she and Milt had to acknowledge that, because of her father, they were "off and on." She spent the summer in tears.

Meanwhile, despite her initial lack of interest in Warren, Susie could never spend time with anyone without wanting to learn all about him. She soon started to realize that her first impression had been wrong. He was not the privileged, cocky, self-confident guy she thought. *"I was a wreck,"* he recalls; he was jittering on the brink of a nervous breakdown. *"I felt odd, I was socially inept, but beyond that, I hadn't found a cruising speed in life."* Even her friends noticed the vulnerability that lay beneath his veneer of self-assurance. Susie gradually recognized how worthless he felt inside.[35] All that confident chatter about stocks, the aura of a prodigy, the tinny twang of the ukulele, were wrapped around a fragile, needy core: a boy who was stumbling through his days in a shroud of desolation. *"I was a mess,"* he says. *"It was incredible the way Susie saw through to some of that."* Indeed, somebody who felt like a wreck and a mess was catnip to Susie. Warren

would later say of her need to turn him into a cause that he *"was Jewish enough for Susie, but not too Jewish"* for her dad. And so she started coming around.

Warren, who was nearly blind to the way others dressed—even women—was so in love with Susie by now that he actually noticed her clothes. He would never forget the blue dress she wore on their dates or the black-and-white print outfit he called the "newspaper dress."[36] Amid the summer fireflies at the Peony Park pavilion, they stumbled around the dance floor to the sounds of a Glenn Miller tune. Warren had still never learned to dance and tried as hard as he could. He was about as cozy on the dance floor as a sixth grader at a sorority social. But *"I would have done anything she asked,"* he says. *"I would have let her put worms down the back of my shirt."*

By Labor Day, when Warren took her to the state fair, they were a couple. Susie registered at the university as a sophomore majoring in journalism, signed up for the debate team,[37] and enrolled in the Association for the Study of Group Dynamics, a psychology group.[38]

Warren wrote his aunt Dorothy Stahl in October 1951 in his best smart-alecky style: "Things in the girl department are at an all-time peak…the hooks have been sunk pretty deep into me by one of the local gals. As soon as I get the go-ahead from [my uncle] Fred and you, I may proceed further. This girl has only one drawback; she knows nothing about stocks. Otherwise she is unbeatable and I guess I can overlook her Achilles' heel."[39]

Cautiously "proceeding further" was putting it right. Warren worked up his nerve. Instead of proposing marriage, he "just sort of assumed it, and kept talking." Susie, for her part, "realized she had been chosen," although "she wasn't sure how."[40]

Triumphant, Warren went to his Dale Carnegie class on schedule. *"That's the week I won the pencil. They gave a pencil award for doing something difficult and doing the most with the training. The week I won the pencil was the week that I proposed."*

Afterward, Susie wrote a long, sad letter to Milton Brown, telling him the news. He was shocked. He knew she had been out on some dates with Warren but had no idea it was anything serious.[41]

Warren went to talk to Susie's father to get his blessing. This, he already knew, would be easily had. But Doc Thompson took a while—quite a while—to get to the point. He started by explaining that Harry Truman and the Democrats were sending the country straight to hell. Pouring money into Europe after the war through the Marshall Plan and the Berlin airlift[42] was just proof that the policies of that devil Roosevelt were still in place, and that Truman was sending the country straight into bankruptcy. Look at how the Soviets got hold of the atomic bomb right after Truman had dismantled part of the military. Senator Joe McCarthy's House Un-American Activities Committee was proving what Doc Thompson had known all along, that the government was riddled with Communists. HUAC was finding Commies everywhere. The government was downright ineffectual—or worse—when it came to dealing with Communism. Truman had lost China for democracy. He would never be forgiven for firing the heroic General Douglas MacArthur for insubordination after he made repeated efforts to go around Truman and get approval to attack the Chinese Commies in Manchuria. But it was probably too late for even MacArthur to save the country now. The Communists were taking over the world, and stocks were going to be nothing but valueless bits of paper. So Warren's plan to work in the stock market was going to fail. But Doc Thompson would never blame Warren when his daughter starved. He was a smart young man. If not for the Democrats ruining the country, he would probably do all right. The miserable future that awaited Susie wouldn't be Warren's fault.

Long used to this kind of talk, from both his own father and Susie's, Warren waited patiently for the crucial word "yes." Three hours later, Doc Thompson wound his way to a conclusion and gave his consent.[43]

By Thanksgiving, Susie and Warren were planning their April wedding.

19

Stage Fright

Omaha • Summer 1951–Spring 1952

Warren understood Doc Thompson's concern about how he would support a family, even though he had no such doubts himself. Since he couldn't work for Graham-Newman, he had decided to become a stockbroker, and to do it in Omaha, far from the canyons of Wall Street. If you wanted to make money in the stock market, went the common wisdom, the place to do it was New York, so his decision was an unusual one. But he felt free from the conventions of Wall Street; he wanted to work with his father; Susie was in Omaha; and he was never happy far from home.

At almost twenty-one, Warren was supremely confident in his own investing abilities. By the end of 1951, he had already boosted his capital from $9,804 to $19,738. He had earned seventy-five percent in a single year.[1] As a matter of course, however, he consulted his father and Ben Graham. To his surprise, both said, "Maybe you should wait a few years." Graham—as always—thought the market was too high. Howard, pessimistic, favored mining stocks and gold stocks and other investments designed to protect against inflation. He didn't think any other kind of business would be a good investment, and he worried about his son's future.

That didn't make sense to Warren. Since 1929, the value of businesses had grown substantially.

"It was absolutely the reverse effect of what you saw in other times, when the market was staggeringly overvalued. I had looked at companies. I just couldn't see why you wouldn't want to own them. It was on a micro level, not an assessment of the growth of the economy or anything like that, and I was working with micro money. But it just seemed to me that it was crazy not to own them. On the other hand, here's Ben, with his two hundred IQ and all experienced, telling me to wait. And my dad, who, if he told me to walk out a window, I would have done it." Still, to make this decision to defy the advice of his two great authorities—his father and Ben Graham—was an enormous step for him. It required him to consider the possibility that his judgment might be superior to theirs, and that the two men whom he most deeply respected were not thinking rationally. Yet he was certain he was right. He might have walked out a window if his father told him to—but not if it meant leaving a *Moody's Manual* full of cheap stocks behind.

In fact, the opportunities he saw were so plentiful that they justified borrowing money for the first time. He was willing to take on debt equal to a quarter of his net worth. *"I was already running short of money to invest. If I was enthused about a stock I would have to sell something else to buy it. I had an aversion to borrowing money, but I got a loan for five thousand dollars or so from the Omaha National Bank. I was under twenty-one and my dad had to cosign the loan. Mr. Davis, the banker, conducted it as a rite of passage. He said something like, 'You're going into manhood now,' and referred to this five thousand dollars, saying, 'It's a solemn obligation, and we know you've got the kind of character to pay it back.' This went on for half an hour while I was sitting there next to this big desk."*

Howard probably felt both proud and a little silly cosigning a loan for his son, who had been a full-fledged businessman for at least a dozen years. Since Warren had made up his mind, Howard was also willing to take him on at his own firm, Buffett-Falk—though only after suggesting that he interview at a prominent local firm, Kirkpatrick Pettis Co., to see what the best of Omaha stockbroking had to offer.

"I went to see Stewart Kirkpatrick and said during the interview that I wanted intelligent customers. I was going to try to look for people who could understand things. And Kirkpatrick said, in effect, don't worry about whether they're intelligent, worry about whether they're rich. Which is okay, you can't knock him for that. But I wouldn't have wanted to work anyplace but at my dad's firm."

At Buffett-Falk, Warren was installed in one of its four private unair-conditioned offices, next to the "cage," a glassed-in area where a clerk handled the money and securities. He started out selling his favorite stock to the safest people he knew, his aunt and his college friends, including his first roommate at Wharton, Chuck Peterson, who was now in the real estate business in Omaha and with whom he'd reconnected.

"My aunt Alice was the first call I made, and I sold her a hundred shares of GEICO. She made me feel good about myself. She was interested in me. And after that Fred Stanback, Chuck Peterson, and anybody I could get to buy it. But mostly I got myself to buy it, because when other people didn't buy it, I'd just figure out a way to buy five more shares myself. I had this big ambition. I was going to own one-tenth of one percent of the company. It had 175,000 shares outstanding, and I figured if the company would become worth one billion dollars someday and I owned that much, I would be worth a million dollars. So I needed 175 shares."[2]

Yet in the meantime, his job was to sell on commission, and beyond this narrow circle, Warren found that almost insurmountably difficult. He got a taste of the obstacles his father had faced to build his brokerage business back when the grand old families of Omaha—the owners of the banks, stockyards, breweries, the big department stores—peered down their noses at the grandson of a grocer. Alone in Omaha now, with his parents back in Washington, Warren felt that he got no respect.

These were the days when all stocks were sold by full-service stockbrokers, and most people bought individual stocks rather than mutual funds. Everybody paid fixed commissions of six cents a share. Transactions took place in person or over the telephone, as part of a relationship. Every trade was preceded by a few minutes of chat with "your broker," part salesman, part adviser, part friend. Your broker might live in your neighborhood, and you saw him at parties, you golfed with him at your country club, and he came to your daughter's wedding. General Motors brought out new models of its cars every year, and a businessman might trade his car more often than his stocks. That is, if he owned any stocks.

Important accounts didn't take Warren seriously. Nebraska Consolidated Mills, a client of his father's, once scheduled him to come out at five-thirty a.m.[3] *"I was twenty-one. And I'd go around to all these people to sell them stocks, and when I'd get all through they'd say, 'What does your dad think?' I got that all the time."* Warren, who looked like a "dork," struggled to make sales.[4] He didn't know how to read people, couldn't make small talk, and certainly wasn't a good listener. His mode of conversation was to broadcast rather than receive. When nervous, he sprayed forth information about his favorite stocks like a fire hose. Some potential clients listened to his pitch, checked with other sources, and used his ideas, but bought the stocks through other brokers, so he didn't get the commission. He was shocked at this perfidy from people he'd spoken to face-to-face and would be seeing again around town. He felt cheated. Other times he was simply baffled. Once he walked in on a guy who was in his seventies sitting with a pile of dollar bills on his desk and a secretary in his lap. Every time she kissed him, the man gave her a dollar bill.

"My dad hadn't taught me what to do in that sort of circumstance. Generally speaking, I was not getting reinforcement. When I first started selling GEICO to people, Buffett-Falk had this little office downtown, and the stock certificates would come in and Jerome Newman's name would be on those certificates. He was the seller I was buying from. And the guys at Buffett-Falk said, 'What the hell. If you think you're smarter than Jerry Newman…'"

In fact, Graham-Newman was forming a new partnership, and some of the investors had given the firm GEICO shares to fund money into the partnership. So in effect, it was they who were selling, not Graham-Newman. Warren didn't know that.[5] But when it came to GEICO, he didn't care who was selling. It did not occur to him to ask anyone at the firm why they were selling. He was unshakeably certain of his own opinion. Nor did he hide that fact.

"I was sort of a wise guy, with this graduate degree, among people who hadn't gone to college. One time an insurance agent, Ralph Campbell, came in to see Mr. Falk and said, 'What's this kid doing going around promoting this company?' GEICO was a company that didn't use insurance agents. And I said, like a wise

guy, 'Mr. Campbell, you better buy this stock for unemployment insurance.'"

The full import of Dale Carnegie's first rule, don't criticize, hadn't sunk in. Warren used what would later become the trademark Buffett wit to show that he knew more than everybody else, but why would anyone have been willing to believe that of a twenty-one-year-old? And yet he did. It must have stunned people at Buffett-Falk to watch him, morning through night, ripping through the manuals, adding to his file cabinets of knowledge.

"I went through the Moody's Manuals page by page. Ten thousand pages in the Moody's Industrial, Transportation, Banks and Finance Manuals—twice. I actually looked at every business—although I didn't look very hard at some."

Even though endlessly fascinated by the game of finding stocks, Warren wanted to be more than an investor, more than a salesman. He wanted to be a teacher, to emulate Ben Graham. He signed up to teach a night course at the University of Omaha.

At first he partnered with his stockbroker friend Bob Soener, who taught the first four weeks of "Profitable Investing in Stocks." While Soener explained to the class basics such as how to read the *Wall Street Journal,* Warren stood in the hallway listening for any good investment ideas. Then he took over for the next six weeks.[6] Eventually he taught the whole course and gave it the more cautious name of "Sound Investing in Stocks." In front of his classroom, he lit up, pacing the floor as if he couldn't get the words out fast enough, even though the students had to struggle not to drown in the flood of information he threw at them. But despite his deep vein of knowledge, he never promised the class they would get rich or that taking his class would give them any particular result. Nor did he brag about his own success at investing.

His students ranged from stock-market professionals to people who had no head for business—housewives, doctors, retirees. They symbolized a subtle shift: Long-absent investors were starting to come back for the first time since the 1920s—part of why Graham thought the market was overvalued. Warren adapted his teaching to the range of their knowledge and skills. He modeled his teaching style after Graham's, using the "Company A, Company B" method and some of his mentor's other little teaching tricks. He handed out grades with the strictest fairness. His aunt Alice took the course and sat in the classroom gazing at him with adoring eyes.[7] He gave her a C.

People were always throwing out the names of stocks, asking him whether to buy or sell. He could speak from memory for five or even ten minutes about any stock they named: its financial data, price/earnings ratio, the volume of shares that traded—and from all appearances, he could do this for hundreds of stocks, as if he were quoting baseball statistics.[8] Sometimes a woman in the front row would say, "My late mother gave me ABC stock, and now it's up a little bit. What should I do?" Then he would say, "Well, I think I would sell that, and maybe buy…," giving three or four options such as GEICO or one of a few stocks about which he was entirely confident (and already owned).[9] The students remarked on his unusual conservatism when responding to their questions about how to invest.

Meanwhile, Warren was working like a woodpecker in April to make money for himself. He was going to be taking care of a family soon, which would divide his income into two streams. Part of what he made—his stream—would go back into the mill and continue to grow. And part he would spend for him and Susie to live, a significant change in his circumstances. Until now, he had been able to pare his expenses by living in the maid's room at Columbia, eating cheese sandwiches, and taking his dates to lectures or playing the ukulele for them instead of escorting them to the posh "21" Club. Now that he was back in Nebraska, he was able to cut his costs even further by living in his parents' house, even though it meant occasional contact with Leila when they came back from Washington.

He had never needed motivation to try to work his capital as hard as possible, and now he sat in the office at Buffett-Falk with his feet on his desk, searching systematically through the Graham and Dodd book for more ideas.[10] He found a stock, Philadelphia and Reading Coal & Iron Company, a company that mined anthracite coal. It looked cheap because it was selling for $19 and a fraction, but had about $8 a share worth of culm

banks.[*14] Warren would happily spend hours figuring out how much coal mines and culm banks were worth in order to make a rational decision about a stock. He bought Philadelphia and Reading Coal & Iron shares himself and sold them to his aunt Alice and Chuck Peterson. When the stock immediately dropped to $9 a share, he saw that as a reason to buy even more.

He bought a textile company called Cleveland Worsted Mills. It had current assets[†15] of $146 per share, and the stock was selling for less than that. He felt the price did not reflect the value of "several well-equipped mills."

Warren wrote a short report on the stock. He liked the fact that the company was paying out a lot of what it earned to shareholders—giving them a bird in the hand. "The $8 dividend provides a well-protected 7% yield on the current price of approximately $115," the report noted.[11] He wrote "well-protected" because he thought Cleveland Worsted Mills had enough earnings to cover its dividend. That proved less than prescient.

"I called it Cleveland's Worst Mill after they cut off paying the dividend." Warren was so mad that he decided to spend some money to find out what was wrong. *"I went to an annual meeting of Cleveland's Worst Mill, and I flew all the way to Cleveland. I got there about five minutes late, and the meeting had been adjourned. And here I was, this kid from Omaha, twenty-two years old, with my own money in the stock. The chairman said, 'Sorry, too late.' But then their sales agent, who was on the board of directors, actually took pity on me, and so he got me off on the side and talked to me and answered some questions."* The answers, however, changed nothing. Warren felt awful; he had gotten other people to buy Cleveland's Worst Mill too.

There was nothing he hated more than selling people investments that lost them money. He couldn't stand disappointing people. This was what it had been like back in the sixth grade when the Cities Service Preferred stock he'd gotten Doris to invest in was clobbered. She hadn't hesitated to "remind" him about it, and he'd felt responsible. Now, he would do anything to avoid the feeling of letting someone down.

Warren began looking for any way to make himself less dependent on the job he was starting to hate. He had always enjoyed owning businesses, and decided to buy a gas station with a friend from the National Guard, Jim Schaeffer. They bought a Sinclair station that was next to a Texaco station *"that consistently out-sold us, which drove us crazy."* Warren and his brother-in-law Truman Wood, who had married Doris, even worked at the station themselves on weekends. They washed windshields "*with a smile*"—despite Warren's aversion to manual labor—and did everything they could to attract new customers, but instead drivers continued to pull in to the Texaco station across the street. Its owner *"was very well established and very well liked. He beat us every month. That's when I learned the power of customer loyalty. The guy had been in business forever and had a clientele. Nothing we could do was going to change that.*

"My service station was the dumbest thing—I lost two thousand dollars, and that was a lot of money for me at the time. I'd never had real damage in a loss. It was painful."

It seemed to Warren that nearly everything he did in Omaha reinforced his sense of youth and inexperience. He was no longer a precocious boy who was acting like a man, but a young man—about to get married—who looked and sometimes acted like a boy. Kaiser-Frazer, the stock he had shorted two years before in Bob Soener's office, still hung stubbornly around five dollars a share instead of going to zero as he had expected. Carl Falk was always giving him funny looks and questioning his judgment. And Warren felt more and more queasy about the very nature of his job. He started to think of himself as being like "a prescriptionist." *"I had to explain to people who didn't know enough about whether they should take aspirin or Anacin,"* and people would do anything the "guy in the white coat"—the stockbroker—told them to do. The stockbroker got paid based on turnover instead of advice. In other words, *"he's getting paid based on how many pills he sells. He gets paid more for some pills than others. You wouldn't go to a doctor whose pay was totally contingent on how many pills you took."* But that's how the business of being a stockbroker worked at the time.

Warren felt there was a conflict of interest inherent in the business. He'd recommend a stock like GEICO to his friends and family, and tell them that the best thing to do was to hold it for twenty years. That meant he

didn't get any more commissions from them. *"You can't make a living that way. The system pits your interests against your clients."*

Nevertheless, he had begun to develop a small clientele of his own through his network of graduate school friends. In the spring of 1952, he went to Salisbury, North Carolina, to spend Easter with Fred Stanback. He charmed and amused Fred's parents and entertained the family by talking stocks, quoting Ben Graham, and asking for a Pepsi-Cola and a ham sandwich for breakfast.[12] Soon afterward, back in Omaha, Fred Stanback's father gave him an order to sell some stock in a washing-machine company, Thor Corporation. Warren found a customer through another broker, Harris Upham, who wanted to buy it. Then he got another call from Stanback's bank about the sale and thought he had two orders. He sold the Thor Corporation stock twice, the second time unwittingly selling stock he didn't have. Now he had to find additional shares, and ended up buying them at a loss to cover the second sale.

Mr. Stanback treated him graciously despite the mistake. He absorbed the entire loss even though it was Warren's fault. Warren was grateful and never forgot it. He had more reason for concern about the second buyer, a man known as "Mad Dog" Baxter, who was a remnant of Omaha's days as a major gambling layoff center[*16] and an associate in some of the city's many illegal betting parlors. Baxter had arrived at Buffett-Falk in person, strolled up to the cashier's cage, and pulled out a wad of $100 bills, waving it around ostentatiously. Once again, *"Carl Falk looked at me questioningly."* Was Buffett-Falk being used to launder illegal gambling money? Situations like this reinforced Warren's dislike for his job. Even when he wasn't selling stocks, he felt conflicted. He had turned Buffett-Falk into a "market maker," a firm that acted as a middleman, buying and selling stocks as a dealer.[13] The firm made a profit by selling a stock to clients at a slightly higher price than it paid, and buying stock from clients at a lower price than it sold the stock for. The difference, or "spread," was its profit. The spread was invisible to the customers. Acting as a market maker lifted a brokerage firm from being a mere order taker to being a player in the Wall Street game. While Warren was proud that he had the know-how to set Buffett-Falk up as a market maker, the conflict bothered him.

"I don't want to be on the other side of the table from the customer. I never was selling anything I didn't believe in myself or own myself. On the other hand, there was a markup that was undisclosed. If anybody asked me about it, I told them. But I don't like anything like that. I want to be on the same side of the table with the people who are my partners, everybody knowing what's going on. And a promoter, by his nature, doesn't do that."

No matter how Warren thought about his job as a stockbroker, there was always a potential conflict of interest, and always the possibility that he would lose money for his clients and open himself up to disappointing them. He would much rather manage people's money instead of selling them stocks, with his interest on the same side as the customer's. The problem was, there were no such opportunities in Omaha. But in the spring of 1952, he wrote an article about GEICO that attracted the attention of a powerful man, and with that, his luck seemed about to change. The article, "The Security I Like Best," which appeared in the *Commercial and Financial Chronicle,* was not just an advertisement for Warren's favorite stock, but an explanation of his ideas about investing. It caught the attention of Bill Rosenwald, who was a son of Julius Rosenwald, a philanthropist and the longtime chairman of Sears, Roebuck & Co. The younger Rosenwald ran American Securities, a money management firm launched with family stock in Sears[14] that sought high returns while minimizing risk and preserving capital. After contacting Ben Graham, who gave Warren a strong recommendation, Rosenwald offered Warren a job. Few jobs in money management were as prestigious, and Warren was dying to accept it, even though that meant moving back to New York City. To do so, however, he had to get permission from the National Guard to leave Omaha.

"I asked my commanding officer whether it would be possible to transfer to New York to take this job. He said, 'You'll have to go down and see the commanding general.' So I went down to Lincoln, sat there in the state capitol, waited awhile, went in to see General Henninger, and said, 'Corporal Buffett reporting.' I'd written him ahead of time explaining and asking permission.

"And right away he said, 'Permission denied.'

"That was the end of it. That meant I was in Omaha as long as he wanted to keep me captive."

Thus Warren was stuck at Buffett-Falk, writing prescriptions for a living. The main comfort he had during the challenges of his first year back in Omaha was his fiancée. He had begun to lean on Susie. All the while, she was working at figuring Warren out. She began to understand the damage Leila Buffett's rages had done to her son's self-worth, and she started trying to repair it. She knew that the main thing he needed was to feel loved and never criticized. He also needed to feel that he could succeed socially. *"People accepted me more when I was with her,"* he says. Even though she was still at the University of Omaha while he had been working, he was like a toddler gazing up at a parent when it came to his relationship with his future wife. Both were still living in their parents' homes. Over time, Warren had developed a way of dealing with his mother, which was to avoid being alone with her, while making use of her dutiful nature when in her presence by besieging her with demands and requests. Yet the long stretches that he had spent away from her while attending college had lowered his tolerance for Leila's company instead of raising it. When she and Howard came back from Washington for Warren and Susie's wedding, Susie noticed that her fiancé avoided his mother as much as he could. When forced to be in her company, he would turn his face away from her and clench his teeth.

It was time for Warren to move out. He called Chuck Peterson, saying "Chas-o, I haven't got a place for us to live," and Chas-o rented him a tiny apartment a couple of miles from downtown. When Warren gave Susie, who had a strong sense of self-expression, an allowance of $1,500 to furnish their first apartment, she and her future sister-in-law Doris took off for Chicago to shop for furniture in the colorful modern style she liked.[15]

As the wedding date, April 19, 1952, approached, the question arose whether the ceremony would take place at all. The week before, the Missouri River flooded upstream of Omaha. With the waters heading south, officials predicted they would crest above the riverbank and flood the city during the weekend. This made it likely that the National Guard would be called out.

"The whole town turned out with sandbags. I had all these buddies coming in for the wedding—Fred Stanback was going to be best man, and various ushers and guests. They were all kidding me because I was in the National Guard. They said, 'Well, don't worry about it, because we'll substitute for you on the honeymoon.' Jokes like that. This was going on all week."

A few days beforehand, Howard drove Warren and Fred down to the river. Thousands of volunteers were building double walls of sandbags, six feet high and four feet deep. The earth sank under the wheels of the huge trucks hauling sand and dirt, as if they were driving over rubber.[16] Warren held his breath, hoping that he would not be called for duty to sandbag and that the temporary levee would hold.

"Saturday came, and we were getting married about three in the afternoon. Around noon, the phone rang. My mother said, 'It's for you.' I picked up the phone. The guy at the other end said, 'C-C-C-Corporal Buffett?' I had a commanding officer who had a really distinctive stutter. 'This is C-C-C-Captain Murphy,' he said.

"If he hadn't stuttered, I'd have said something that'd probably have gotten me court-martialed, because I would have thought it was the guys pulling a trick on me. But as it was, he said, 'We've been activated. What time c-c-c-can you show up at the Armory?'" Warren almost had a heart attack.[17] *"And I said, 'Well, I'm getting married at three o'clock.' I said, 'I could probably be there by five.' He said, 'Report for d-d-d-duty. We're going to be p-p-p-patrolling East Omaha d-d-down by the river.' I said, 'Yes, sir.'*

"I got off the phone totally depressed. Then I get a call an hour later. And this guy had a perfectly normal voice. He says, 'Corporal Buffett?' I said, 'Yes, sir.' He said, 'This is General Wood.'[18] *That was the commanding general of the Thirty-fourth Division, who lived way out in west Nebraska. General Wood said, 'I'm countermanding Captain Murphy's order. Have a good time.'"*

He had two hours left before the biggest event of his life. Warren showed up at the soaring Gothic sanctuary of Dundee Presbyterian Church well before three o'clock. The wedding of a Congressman's son and Doc Thompson's daughter was a major event in Omaha. Several hundred guests, including many of Omaha's top-drawer people, were expected.[19]

"Doc Thompson was so proud, he was popping buttons all over the place. I was so nervous that I just figured—well, I didn't wear my glasses so that I wouldn't be able to see all those people out there." Warren also asked the normally reserved Stanback to distract him by talking so he wouldn't have to focus on what was happening.[20]

Bertie stood up for Susie as maid of honor, Susie's sister Dottie as matron of honor. After the photographs, the guests drank nonalcoholic punch and ate wedding cake downstairs in the linoleum-floored church basement. That was the normal thing to do; the Thompsons and the Buffetts weren't club people. Susie smiled wide as an ivory fan. Warren glowed, incandescent, and wrapped his arm around her waist as if trying to keep them both from sailing off into the air. After more photographs, they changed into their going-away clothes and ran through the crowd of cheering guests to duck into Alice Buffett's car, which she had lent them for the honeymoon. Warren had already loaded the backseat with *Moody's Manuals* and ledgers. All of a sudden, Susie saw the writing on the wall.[21] And from Omaha, the newlyweds set off on their honeymoon—a cross-country automobile trip.

"On my wedding night, I had chicken fried steak at the Wigwam Café in Wahoo, Nebraska," Buffett says.[22] The Wigwam was a tiny hole-in-the-wall less than an hour from Omaha, with a few booths and cowboy decor. From there, Warren and Susie drove thirty miles to the Cornhusker Hotel in Lincoln to spend the night, *"and that's all I'll say on that subject,"* Buffett says.

"The next day I bought a copy of the Omaha World-Herald and it had run an article that said, 'Only love can stop the Guard.'" [23] The 1952 flood was the worst in modern times in Omaha, the effort spent to avert it Herculean. "*The other guys were sandbagging for days, patrolling in the flood, with the snakes and rats. I was the only guy that didn't get called out."*

The newlyweds traveled all over the western and southwestern United States. Warren had never been there, but Susie knew the West Coast well. They visited her family, took in the sights, went to the Grand Canyon, and had a wonderful time. *"We did not stop to visit companies and look at investments, as has been reported,"* Buffett insists. On the way back they stopped in Las Vegas, which was full of ex-Omaha people. The "layoff bookies" Eddie Barrick and Sam Ziegman had moved there shortly before and bought into the Flamingo Hotel.[24] They were soon followed by another associate, Jackie Gaughan, who had invested in casinos from the Flamingo to the Barbary Coast. All these characters had shopped at the Buffett grocery store, and Fred Buffett got along well with them, even though he wasn't a gambler. For Warren, Vegas felt almost homey, carrying echoes of the racetrack and full of people who knew his family. So he was not afraid of the house. *"Susie won a jackpot on the slot machine. She was only nineteen. They wouldn't pay her because she was underage. I said, 'Lookit, you took her nickels.' And they paid her."*

After Vegas, the Buffetts headed back to Omaha. Warren could not stop chortling over his luckless colleagues in the Guard. *"Oh, the honeymoon was great. It was great. Three weeks. And all the time, these guys in the Guard were sloshing it up."*

PART THREE

The Racetrack



20

Graham-Newman

Omaha and New York City • 1952–1955

A few months after the wedding, Susie went to Chicago with her parents and new in-laws for the Republican convention in July of 1952. The Thompsons and the Buffetts descended on Chicago, not as delegates but as part of an army. Politically speaking at least, they were now one united family, and this election year they were on a crusade to reclaim the White House for the Republicans after twenty agonizing years under the Democrats.[1] Doris would be working behind the scenes alongside her father, while the much younger Bertie and Susie, innocents at the spectacle, spent their time gawking at celebrities like John Wayne, who had shown up for the Grand Old Party.[2]

Warren, of course, stayed in Omaha, grinding away. Politics fascinated him, but not like money. He still hated working as a "prescriptionist," and kept toiling at it while trying to find a way out. His old teacher David Dodd tried to help him by referring him to the *Value Line Investment Survey,* an investment adviser and research publisher, which was looking for "new men." The job would have paid well—"at least $7,000 a year."[3] But Warren did not plan to be an anonymous researcher. So he carried on trying to sell GEICO to uninterested clients while reading the convention news that was being reported under inch-high headlines in the newspapers. For the first time in history, a convention was also being covered on television, and Warren watched eagerly, struck by the power of this medium to magnify and influence events.

The front-runner going into the convention was Senator Robert Taft of Ohio.[4] Known as "Mr. Integrity," Taft headed a minority wing of the Republican Party—centered around isolationist Midwesterners—that wanted the government to be small, to stay out of everybody's business, and above all to go after Communism more aggressively than Truman had done.[5] Taft made his friend Howard Buffett head of his Nebraska presidential campaign and also head of his speakers' bureau. To oppose Taft, the so-called Eastern Liberal Establishment[6] that Howard so despised had drafted retired General Dwight D. Eisenhower—a moderate who had served as the Supreme Commander of Allied Forces in Europe during World War II and was the first Supreme Commander of NATO forces. Eisenhower, a politically adroit diplomat with excellent leadership skills, was a popular figure viewed by many as a war hero. As the convention approached, "Ike" began to catch up in the polls.

What would prove to be the most controversial Republican convention in history unfolded in Chicago as

Eisenhower backers pushed through an amendment to the convention rules, passed on a contentious vote, that handed him the delegates to win the nomination on the first ballot. Taft's outraged supporters felt robbed. But Eisenhower soon made peace with them by promising to combat "creeping socialism," and Taft insisted that his followers swallow their outrage and vote for Eisenhower for the sake of regaining the White House. The Republicans united behind him and his running mate, Richard Nixon; "I Like Ike" buttons sprouted everywhere.[7] Everywhere, that is, except on Howard Buffett's chest. He broke with the party by refusing to endorse Eisenhower.[8]

This was an act of political suicide. His support within the party evaporated overnight. He was left standing on principle—alone. Warren recognized that his father had "painted himself into a corner."[9] From his earliest childhood, Warren had always tried to avoid broken promises, burned bridges, and confrontation. Now Howard's struggles branded three principles even deeper into his son: that allies are essential; that commitments are so sacred that by nature they should be rare; and that grandstanding rarely gets anything done.

Eisenhower defeated Adlai Stevenson in the November election, and in January Warren's parents dragged themselves back to Washington to finish out the rest of Howard's lame-duck term. Warren, who had for some time recognized obsessive qualities in Howard and Leila that disadvantaged them in various ways, had begun to absorb something of his in-laws' style. Dorothy Thompson was easygoing, and her husband, though autocratic, was more personable and astute at human relations than the rigorously idealistic Howard Buffett. The more time he spent with Susie and her family, the more they influenced him.

"Warren," said Doc Thompson, who handed down advice with the authority of the Sermon on the Mount, "always surround yourself with women. They're more loyal and they work harder."[10] His son-in-law hardly needed to be told that. Indeed, Warren had always craved being taken care of by women, as long as they didn't try to order him around. Susie could see that he was eager for her to assume a motherly role. So she wrapped herself around her husband as she worked on "fixing" him, the wreck, the mess. "Oh, my God," she said, "he was a case."[11] When they met, she recalled, "I had never seen anyone in so much pain."

Warren may not have been aware of the depths or dimensions of his pain, but describes the powerful role she played in his life. *"Susie was as big an influence on me as my dad, or bigger probably, in a different way. I had all these defense mechanisms that she could explain, but I can't. She probably saw things in me that other people couldn't see. But she knew it would take time and a lot of nourishment to bring it out. She made me feel that I had somebody with a little sprinkling can who was going to make sure that the flowers grew."*

Susie recognized Warren's vulnerability, how much he needed to be soothed and comforted and reassured. More and more, she could see the effect his mother had had on her children. Doris was the more badly damaged, but Leila had convinced both Warren and Doris that deep down they were worthless. In every area of life except business, Susie was discovering, her husband was riddled with self-doubt. He had never felt loved, and she saw that he did not feel lovable.[12]

"I needed her like crazy," he says. *"I was happy in my work, but I wasn't happy with myself. She literally saved my life. She resurrected me.*[13] *She put me together. It was the same kind of unconditional love you would get from a parent."*

Warren wanted a lot of things from his wife that you would ordinarily get from a parent. Not only that, he had grown up with a mother who did everything for him. Now Susie took over. Although their basic model of wedded life was typical of the time—he made the money, she took care of him and covered the domestic front—their arrangement was extreme. Everything in the Buffett household revolved around Warren and his business. Susie understood her husband was special; she willingly became the cocoon for his embryonic ambitions. He spent his days working and his nights hunched over the *Moody's Manual.* He also arranged his schedule to give himself leisure time to play golf and Ping-Pong, even signing up as a junior member of the Omaha Country Club.

Susie, barely twenty years old, was no Betty Crocker, but she had taken up rudimentary cooking and basic housekeeping like any 1950s wife—at a time when Omaha women were auditioning to appear on the show *Typical Housewife* on local television station KTMV. She devoted herself to fulfilling her husband's few but specific requirements: Pepsi in the refrigerator, a lightbulb in his reading lamp, some indifferently cooked version of meat and potatoes for dinner, a shaker full of salt, popcorn in the cupboard, ice cream in the freezer. He also needed help getting dressed, assistance in dealing with people, tenderness, head rubs, cuddling, and hugs. She even cut his hair, because he claimed he was afraid to go to the barber.[14]

Warren was *"nuts about Susie, and she felt things"* that were inside him, he says. He describes her role as the giver, his as the receiver. *"She was absorbing more about me and sensing much more about me than I was sensing about her."* They were always seen kissing and cuddling, Susie often in Warren's lap; she frequently said this reminded her of her father.

Six months after the wedding, Susie was pregnant and had dropped out of the University of Omaha. Her sister, Dottie, was pregnant, too, with her second baby. She and Susie had remained particularly close. A dark-haired beauty, Dottie resembled her father in intelligence, and, according to family lore, she had possessed the highest IQ in the school when she attended Central High. But in both looks and domesticity, she was more like her mother.[15] She had married Homer Rogers, a pilot and war hero with a big baritone voice whom everybody called Buck Rogers, although he was modest about his war exploits. Homer was a convivial, energetic cattleman, as beefy as the oversize steers he bought and sold. The Rogerses always had a crowd at their house, Dottie playing piano while Homer sang something like "Katie, Katie, get off the table, the money's for the beer." Susie and Warren did not take part in the Rogerses' active social life, since they tended to be more serious-minded and they did not drink, but the sisters spent a lot of time together on their own. Dottie had always had difficulty making decisions, and since having her first son, Billy, she seemed dazed at the demands of motherhood. Susie, naturally, took charge and helped her.

Susie had also become close to her sister-in-law Doris, who was working in Omaha as a schoolteacher now that she was married. Her husband, Truman Wood, was a handsome man with a pleasant personality who came from a prominent Omaha family, but Doris was starting to wonder if she was a racing filly hitched to a Clydesdale. A girl of action, Doris told Truman to giddyup. He ambled along a little faster, but not much.

Susie's protectiveness toward Warren and his sister ticked up a notch in January 1953 after Eisenhower was sworn in, when Howard's final congressional term ended and he and Leila returned to Nebraska for good. Doris and Warren felt the strain of having Leila back in town. Warren could hardly bear to be in the same room with his mother, and she still turned on Doris periodically.

Howard was at loose ends back in Omaha. Warren set up a partnership, Buffett & Buffett, that formalized the way they had occasionally bought stocks together. Howard contributed some capital, and Warren's contribution was a token amount of money, but mostly ideas and labor. But Howard looked at going back into the stockbroking business for the third time with dismay. Warren had been tending his old accounts while he served in Congress, but Howard knew that Warren hated it, had never stopped trying to get Ben Graham to hire him, and would leave in an instant if he could go to New York. For his part, Howard missed his true love, politics. He harbored a desire to enter the Senate, especially now that there was a Republican in the White House. Yet his ambitions conflicted with his extreme political views.

On July 30, 1953—Alice Buffett's birthday—Susie and Warren's first child, a daughter, was born. They named her Susan Alice and called her Little Susie, sometimes Little Sooz. And Susie became a passionate, playful, and devoted mother.

Little Susie was Howard and Leila's first grandchild. A week later, Susie's sister, Dottie, gave birth to her second son, Tommy. Within months, Doris became pregnant with her first child, a daughter, Robin Wood. By the spring of 1954, Susie was pregnant with her second child. Now the Buffetts and Thompsons had a new focus—grandchildren.

* * *

A few months later, a moment came when it looked as though Howard's time might have arrived. On the morning of July 1, 1954, news came from Washington that Nebraska's senior Senator, Hugh Butler, had been rushed to the hospital with a stroke and was not expected to live. The deadline for entering the primary election that would fill his Senate seat was that very night. Howard's sense of propriety was such that he refused to file the papers to run until Butler had actually died, so the Buffetts waited anxiously all day for news. They knew that Howard's name recognition in Douglas County meant that if he ran in a special election without having to go through the party nominating process, even though the party bigwigs were disenchanted with him, the odds were excellent that he could win.

Word of Butler's death came in the early evening, after Secretary of State Frank Marsh's office had closed at its usual five p.m. Howard threw his candidacy filing in the car and he and Leila drove to Lincoln, assuming that they had plenty of time because the deadline was midnight. They tried to file the papers at Marsh's home, but he refused them, even though Howard had paid the filing fee earlier in the day. Infuriated, they returned to Omaha.

The state Republican convention was in session at the time, and on the news of Butler's death, delegates on the floor elected a temporary successor to serve out his term.[16] Anyone serving would more or less automatically be elected to Butler's job in November. As the ranking Republican in the state, Howard was an obvious choice. But he was seen as a zealot, as a guy who tilted at windmills, unyielding on trivial ethical matters and disloyal to his own party for not supporting Eisenhower. Instead, the convention elected Roman Hruska, the well-liked Congressman who had taken Howard's seat when he retired. Howard and Leila sped back to Lincoln and quickly filed suit with the State Supreme Court to force the party to accept his nomination. But twenty-four hours later, they gave up the futile fight and dropped the lawsuit.

Warren was furious when he heard the news about Hruska. "They slit Daddy's throat from ear to ear," he said. How dare the party repay Howard's decades of loyalty this way?

At fifty-one years of age, Howard had just seen his future disappear. As his anger ebbed, his depression grew. Until now, a retired senior party politician like him would have had a role to play, but he had been shut out of the arena that was the center of his life, that made him feel useful in the world. He tried to get a teaching position at the University of Omaha, which the family felt was reasonable given his business experience and tenure as a Congressman. But Howard was considered such an oddball locally that the school would not hire him, even though his own son taught there and Doc Thompson was dean of the College of Arts and Sciences. He ended up going back to work at Buffett-Falk. Eventually, he found a part-time teaching job as a lecturer at Midland Lutheran College, thirty miles from Omaha.[17] The family harbored bitter feelings toward the local establishment, which it felt had essentially run Howard out of town.

Leila dissolved in a pool of misery. Through the reflected glory it bestowed on her, Howard's position in the world may have meant even more to her than it did to him. Her sister Edie was now living in Brazil, Bertie lived in Chicago, and her relationships with Doris and Warren were unsettled at best, so she had only twenty-two-year-old Susie to lean on. But Susie was a busy, pregnant young mother, who had her hands full caring for Warren as well.

And soon, Susie would no longer be in Omaha. For two years, Warren had kept corresponding with Ben Graham. He suggested stock ideas like Greif Bros. Cooperage, a company he and his father had bought for their partnership. He traveled to New York periodically and dropped in on Graham-Newman.

"I would always try to see Mr. Graham."

Surely it wasn't typical for former students to hang about at Graham-Newman.

"No, well, I was persistent."

By the time the local Republican Party slammed the door to the Senate nomination in his father's face, Warren was already on his way to New York. *"Ben wrote and said, 'Come on back.' His partner, Jerry Newman, explained it by saying, 'You know, we just checked you out a little further.' I felt I'd struck the mother lode."* Whether he would accept the position was never in question. And this time, the National Guard said yes.

Warren was so excited about being hired that he arrived in New York on August 1, 1954, and showed up at his new job at Graham-Newman on August 2, a month before his official starting date. There, he discovered that a week earlier, tragedy had struck Ben Graham. Four weeks shy of his own twenty-fourth birthday, Warren wrote his father: "Ben Graham's son Newton (26) who was in the Army in France committed suicide last week. He had always been a little unbalanced. However Graham didn't know it had been a suicide til he read it in the *New York Times* on an Army release, which of course is really tough."[18] When he went to France to collect his son's remains, Ben met Newton's girlfriend, Marie Louise Amingues, known as Malou, who was several years older than Newton. He returned a few weeks later but was never quite the same afterward. He also began to correspond with Malou and made periodic visits back to France. But in those days Warren knew nothing of his idol's personal life.

Instead, he had to attend to his own, for one of his first tasks was to find his family a place to live. Susie and Little Susie had remained in Omaha during his first month in New York City. *"I tried to live at Peter Cooper Village first, one of two big projects built by Metropolitan Life immediately after World War Two. My friend Fred Kuhlken from Columbia lived in Peter Cooper. Walter Schloss lived in Peter Cooper. Everybody wanted to get into Peter Cooper. Under some kind of special section of the law, it was really reasonable, seventy or eighty bucks a month, and very nice. I applied before I went and got a postcard about two years later saying I'd been accepted. If I had been accepted earlier I would have lived in the city."*

Instead, Warren searched far and wide for a cheap apartment. Discounting the impersonal location and long commute, he finally settled on a three-bedroom apartment in a white-brick building in the middle-class suburb of White Plains, about thirty miles away in Westchester County, New York. When Susie and Little Susie arrived a few weeks later, the apartment was still not ready, so the family moved into a room in a house in Westchester that was so cramped they had to devise a makeshift crib from a dresser drawer. The Buffetts stayed there only a day or two.

But such were the tales that would later be told about Warren's frugal habits that this story grew arms and legs and scuttled into the legend that he was too cheap to buy Little Susie a crib, and she therefore slept in a drawer throughout much of her White Plains infancy.[19]

As the pregnant Susie unpacked and arranged her new household while taking care of their baby and getting to know the neighbors, Warren rose every morning and took the New York Central train to Grand Central. In that first month, he had parked himself in the file room at Graham-Newman and, eager to know everything about how the company worked, begun to read through every single piece of paper in every single drawer in an entire room filled with big wooden files.

Only eight people worked there: Ben Graham; Jerry Newman; his son Mickey Newman; Bernie Warner, who was the treasurer; Walter Schloss; two women secretaries; and now Warren. The thin gray laboratory-style jacket Warren had coveted was at last his. *"It was a big moment when they gave me my jacket. We all wore them. Ben wore it, Jerry Newman wore it. We were all equal in our jackets."*

Well, not quite. Warren and Walter sat at desks in a windowless room that contained the ticker machine, the direct lines to the brokerage houses, some reference books and files. Walter sat next to the direct lines and made most of the calls to brokers. Ben, Mickey Newman, or, most commonly, Jerry Newman appeared periodically from their private offices to check a quote on the ticker machine. "We would look up stuff and read. We would go through *Standard & Poor's* or a *Moody's Manual* and look at companies selling below working capital. There were a lot then," recalls Schloss.

These companies were what Graham called "cigar butts": cheap and unloved stocks that had been cast aside

like the sticky, mashed stub of a stogie one might find on the sidewalk. Graham specialized in spotting these unappetizing remnants that everyone else overlooked. He coaxed them alight and sucked out one last free puff.

Graham knew that a certain number of cigar butts would turn out foul, and thought it futile to spend time examining any individual cigar butt's quality. The law of averages said most of them were good for a puff. He was always thinking in terms of how much companies would be worth dead—what their assets would be worth if liquidated. Buying at a discount to that value was his "margin of safety"—his backstop against the percentage that presumably would go bankrupt. As a further backstop, he bought tiny positions in a huge number of stocks—the principle of diversification. Graham's idea of diversification was extreme; some of his positions were as small as $1,000.

Warren, who had such confidence in his own judgment, saw no reason to hedge his bets this way and inwardly rolled his eyes at diversification. He and Walter collected numbers from the *Moody's Manuals* and filled out hundreds of the simple forms that Graham-Newman used to make decisions. Warren wanted to know all the basic information about every company. Once he had looked over the field, he narrowed it down to a handful of stocks worth even more careful study, then concentrated his money on what he considered the best bets. He was willing to put *most* of his eggs in one basket, as he had done with GEICO. By that time, however, he had sold his GEICO shares, because he never seemed to have enough money to invest. Every decision had an *opportunity cost*—he had to compare each investing opportunity with the next best one. As much as he liked GEICO, he had made the wrenching decision to sell it after finding another stock that he coveted even more, called Western Insurance. This company was earning $29 a share, and its stock was selling for as little as three bucks.

This was like finding a slot machine that would come up cherries every time you played. If you put in twenty-five cents and pulled the handle, the Western Insurance machine was virtually guaranteed to pay at least two bucks.[20] Anyone sane would play that slot as long as she could stay awake. It was the cheapest stock with the highest margin of safety he'd ever seen in his life. He bought as much of it as he could, and he cut his friends in on the deal.[21]

Warren was a bloodhound for anything free or cheap. With his prodigious ability to absorb numbers and to analyze them, he quickly became the fair-haired boy of Graham-Newman. It came so naturally to him; Ben Graham's cigar butts resembled his old hobby of stooping at the racetrack for cast-off winning tickets.

He paid close attention to what was going on in the back where the partners—Ben, Jerry, and Mickey —worked. Ben Graham was on the board of Philadelphia and Reading Coal & Iron Company, and Graham-Newman controlled the company. Warren had discovered this stock on his own, and by the end of 1954 he had put $35,000 into it. His boss would have been appalled, but Warren was confident—and eavesdropped with fascination.[22] Philadelphia and Reading—which sold anthracite coal and owned the supposedly valuable culm banks—actually wasn't worth much as a business. Over time, it was going nowhere. But it was throwing off extra cash, which it could use to transform itself into a better business by buying another company.

"I was just a peon sitting in the outer office. A guy named Jack Goldfarb came in to the office to see Graham-Newman. He negotiated with them and they bought the Union Underwear Company from him for Philadelphia and Reading Coal and Iron, creating what became Philadelphia and Reading Corporation.[23] *That was the beginning of the company's transformation into something more diversified. I was not in the inner circle, but I was terribly interested, knowing something was going on."*

What Warren was learning about by keeping his ears open was the art of capital allocation—placing money where it would earn the highest return. In this case, Graham-Newman was using money from one business to buy a more profitable business. Over time, it could mean the difference between bankruptcy and success.

Transactions like this made Warren feel that he was sitting on the windowsill looking in at high finance as it was taking place. Yet, as he soon found, Graham did not behave like anyone else on Wall Street. He was always mentally reciting poetry or quoting Virgil and was apt to lose packages on the subway. Like Warren,

he was indifferent to how he looked. When someone observed, "That's an interesting pair of shoes," Graham looked down at the brown oxford on one foot and the black one on the other and said, without blinking, "Yes, as a matter of fact, I've got another pair just like them at home."[24] Unlike Warren, however, he cared nothing about money for its own sake, nor was he interested in trading as a competitive game. To him, stock-picking was an intellectual exercise.

"One time, we were waiting for an elevator. We were going to eat in the cafeteria down at the bottom of the Chanin Building at Forty-second and Lex. And Ben said to me, 'Remember one thing, Warren: Money isn't making that much difference in how you and I live. We're both going down to the cafeteria for lunch and working every day and having a good time. So don't worry too much about money, because it won't make much difference in how you live.'"

Warren was in awe of Ben Graham, but nonetheless he *was* preoccupied with money. He wanted to amass a lot of it, and saw it as a competitive game. If asked to give up some of his money, Warren responded like a dog fiercely guarding its bone, or even as though he had been attacked. His struggle to let go of the smallest amounts of money was so apparent that it was as if the money possessed him, rather than the other way around.

Susie had learned this only too well. Even within their apartment building, Warren had quickly earned a reputation for tightfistedness and eccentricity. It was only after he was embarrassed by the state of his shirts at work—for Susie never ironed more than the collar, front placket, and cuffs—that he allowed her to send the shirts to a laundry.[25] He made a deal with a local newsstand to buy week-old magazines at a discount as they were about to be thrown away. He had no car, and when he borrowed that of a neighbor, he never filled up the tank. (When he finally got a car, he washed it only when it was raining, so the rain could do the manual labor of rinsing.)[26]

For Warren, holding on to every penny this way, since he had sold that first pack of chewing gum, was one of the two things that had made him comparatively rich at age twenty-five. The other was collecting more cash. Since Columbia, he had started making money at an accelerating rate. Now, much of his time Warren spent in a reverie, statistics about businesses and their stock prices swirling in his head. When he wasn't studying something, he was teaching it. To keep his Dale Carnegie skills limber so he would not freeze in front of an audience, he got a gig teaching investing for the Scarsdale Adult School at the high school in a nearby suburb. Meanwhile, the Buffetts' social set consisted of couples whose breadwinners were mainly interested in stocks.

Now and then he and Susie were invited to a country club or to dinner parties with other young Wall Street couples. Bill Ruane had introduced him to several new acquaintances like Henry Brandt, a stockbroker who looked like a disheveled Jerry Lewis and had graduated at the top of his class from Harvard Business School, and his wife, Roxanne. Among the Wall Street set, Warren struck people as the "hickiest person you ever saw," as one of them put it. But when he started holding forth about stocks, the others sat transfixed at his feet, like "Jesus and the apostles," said Roxanne Brandt.[27]

The wives sat by themselves and had their own conversations, and there Susie stood out as much as her husband did among the men. Warren wove his financial spells, and Susie charmed the wives with her engaging simplicity. She wanted to know all about their children, or their plans to have children. She knew how to get people to open up to her. She would ask about some big life decision, then, with a soulful look, say, "Any regrets?" Out would come pouring the other person's most intimate feelings. Soon someone she had met half an hour before felt she had a new best friend, even though Susie never confided intimacies in return. People loved her for being so interested in them.

But mostly Susie was on her own as she waited for their second child to be born, her days filled with laundry, shopping, cleaning, and cooking, as well as feeding, changing, and playing with Little Susie. All this felt right and normal to both of them. As Ricky Ricardo had said in the first season of *I Love Lucy* three years before, "I want a wife who's just a wife."[28] Lucy's ambitions and her fruitless efforts to fulfill them made the show comical. So, as Susie fed Warren dinner, she supported him at his work as if it were a daily sacrament; she

recognized the reverence he felt for Mr. Graham. But she also observed from a distance. Warren didn't share the details of his job, which in any case didn't interest her. She continued the patient work of bolstering his confidence, and of "putting him together" by showering him with affection and teaching him about people. One thing she was firm about at home was the importance of his bonding with their daughter. Warren was not the type to play peekaboo or take over the diaper changing, but he would sing to Little Susie every night.

"I sang 'Over the Rainbow' all the time. It got to be hypnotic, almost like Pavlov's dogs. I don't know whether it was too boring or what—but she'd fall asleep as soon as I started. I'd put her up on my shoulder, and, basically, she would just sort of melt in my arms."

Having hit on a reliable system, Warren never messed with it. While singing, he could easily be off rummaging around in his mental files. So "Over the Rainbow" it was, night after night.

On her own, housekeeping, raising a baby, and taking care of Warren in a sterile suburb of New York, Susie may have welcomed anybody who showed up at the door. One day in late 1954, a salesman for *Parents* magazine dropped by the apartment. Whatever the salesman told Susie, when Warren got home he concluded that the paperwork she'd signed committed them to less favorable terms than she had thought. He was incensed that his wife had been misled. He called several times and talked to the magazine's representatives, but they apparently said "nothing doing" when he asked for his money back.

Warren mounted a crusade. He wanted more than his $17 back; he wanted to right an injustice, to bring the reprobate *Parents* magazine to its knees. He went around the apartment building and found a number of others willing to join the cause. He sued the magazine in small-claims court in Manhattan and looked forward to testifying on behalf of all the allegedly swindled subscribers of *Parents* magazine. He clicked his heels with glee at the thought of the magazine's lawyers running their meter. There was a bit of his father in this episode, but with a pecuniary slant and better odds of winning, so that his mother would have approved.

But to his chagrin, before the trial took place he got a check in the mail. *Parents* magazine had settled. The crusade was foiled.

On December 15, 1954, Warren had come home from work because Susie's labor was beginning, and then came a ring at the door. Susie answered it and found a door-to-door missionary who had come to call. She politely invited him to sit down in the living room. And she listened.

So did Warren, who was thinking to himself that only Susie would have let the man inside. Warren began to encourage the conversation to wind down. Agnostic for a number of years, he had no interest in being converted, and his wife was in labor. They needed to get to the hospital.

Susie continued listening. "Tell me more," she said. Now and then she pulsed and moaned slightly as the missionary kept talking.[29] She ignored Warren's signals, obviously feeling it more important to be polite to the visitor and make him feel understood than to get to the hospital. The caller seemed oblivious to the fact that she was in labor. Warren sat there, helpless and increasingly agitated, until the preacher ran out of steam. "I wanted to kill the guy," he says. But they made it to the hospital in ample time, and Howard Graham Buffett arrived early the next morning.

21

The Side to Play

New York City • 1954–1956

Howie was a "difficult" baby. Whereas Little Sooz had been quiet and placid, Howie was like an alarm clock you couldn't turn off. His parents kept waiting for the clamor to lessen, but it only increased. The apartment suddenly seemed full and noisy all the time.

"He had some kind of digestive problem. We experimented with all these different kinds of milk bottles. I don't know whether he was getting air in or not, but he was up all the time. Compared to Little Sooz, Howie was a trial."

It was Big Susie who jumped to the sound of the alarm clock. Since Warren had grown up between a speechifying father and a mother who alternated grotesque rages with pitter-patter chatter, perhaps it was not surprising that he had learned to shut his ears to what was going on around him. Not even Howie's howling nights distracted him much. In his little office in the apartment's third bedroom, he could lose himself for hours in his thoughts.

At work he had become absorbed in a complicated new project that would become a seminal event in his career. Shortly after Warren joined Graham-Newman, the price of cocoa suddenly spiked from a nickel to more than fifty cents a pound. Over in Brooklyn, Rockwood & Co., a chocolate maker "of limited profitability,"[1] faced a dilemma. Its number one product was Rockwood chocolate bits, the kind of nuggets used in chocolate chip cookies, and the company couldn't raise its prices much on this grocery item, so it began running a huge loss. However, with cocoa-bean prices so high, Rockwood also had a chance to unload the cocoa beans it already owned to reap a windfall profit. Unfortunately, the ensuing tax bill would eat up more than half those profits.[2]

Rockwood's owners approached Graham-Newman as a possible buyer of the company, but Graham-Newman wouldn't pay the asking price. So they turned instead to the investor Jay Pritzker, who had spotted a way to avoid the huge tax bill.[3] What he realized was that the 1954 U.S. Tax Code said that if a company was reducing the scope of its business, it could pay no tax on such a "partial liquidation" of its inventory. So Pritzker bought enough stock to take control of Rockwood, choosing to keep the company going as a maker of chocolate bits, and to get out of the cocoa-butter business. He attributed thirteen million pounds of cocoa beans to the cocoa-butter side of the business, the amount of beans that would be "liquidated."

Rather than sell the beans for cash, however, Pritzker offered them to the other shareholders in exchange for stock. He did so because he wanted their shares to increase his ownership of the company. So he offered them a good deal as an incentive—$36 worth of beans[4] for shares that were trading at $34.[5]

Graham spotted a way to make money from this offer—Graham-Newman could buy Rockwood stock and swap it to Pritzker for cocoa beans it could sell to make a $2 profit on every share. This was arbitrage: two nearly identical things trading at a different price, which enabled a canny trader to simultaneously buy one and sell the other and profit on the difference, with virtually *no* risk. "In Wall Street the old proverb has been reworded," as Buffett wrote later. "Give a man a fish and you feed him for a day. Teach a man to arbitrage and you feed him forever."[6] Pritzker would give Graham-Newman a warehouse certificate, which is just what it sounds like: a piece of paper that says the holder owns so many cocoa beans. It could be traded like a stock. By selling the warehouse certificate, Graham-Newman would make its money.

$34 (G-N's cost for a share of Rockwood—which it turns in to Pritzker)

<u>$36</u> (Pritzker gives G-N a warehouse receipt—which it sells at this price)

$ 2 (Profit on each share of Rockwood stock)

Virtually no risk, however, means there is at least *some* risk. What if the price of cocoa beans dropped, and the warehouse receipt was suddenly worth only $30? Instead of making two dollars, Graham-Newman would lose four bucks for every share of stock. To lock in its profit and eliminate that risk, Graham-Newman sold cocoa "futures." It was a good thing, too—for cocoa prices were about to drop.

The "futures" market lets buyers and sellers agree to exchange commodities like cocoa or gold or bananas in the future at a price agreed upon today. In exchange for a small fee, Graham-Newman could arrange to sell its cocoa beans at a known price for a specified period of time, thus eliminating the risk that the market price would drop. The person on the other side of the trade—who was acquiring the risk that the price would drop—was speculating.[7] If cocoa beans got cheaper, Graham-Newman was protected, because the speculator would have to buy Graham-Newman's cocoa beans for more than they were worth.[8] The speculator's role, from Graham-Newman's perspective, was to sell what amounted to insurance against the risk of the price dropping. At the time, of course, neither knew which way cocoa prices would move.

Thus, the goal of the arbitrage was to buy as many Rockwood shares as possible while at the same time selling an equivalent amount of futures.

Graham-Newman assigned Warren to the Rockwood deal. He was made for it; he had been arbitraging stocks for several years, buying convertible preferred stock and shorting common stock issued by the same company.[9] He had studied arbitrage returns over the preceding thirty years in detail and had discovered that these "riskless" deals typically returned twenty cents for every dollar invested—a lot more than the seven or eight cents profit from the average stock. For several weeks, Warren spent his days shuttling back and forth to Brooklyn on the subway, exchanging stock for warehouse certificates at Schroder Trust. He spent his evenings studying the situation, sunk in thought while singing "Over the Rainbow" to Little Sooz and shutting out the screams as Big Susie struggled to give Howie a bottle.

On the surface, Rockwood was a simple transaction for Graham-Newman: Its only cost was subway tokens, thought, and time. But Warren recognized the potential for even more "financial fireworks" than Graham-Newman had.[10] Unlike Ben Graham, he did *not* do the arbitrage. Thus he did not need to sell cocoa futures either. Instead, he bought 222 shares of Rockwood stock for himself and simply kept it.

Warren had thought through Pritzker's offer carefully. When he divided all the beans Rockwood owned—not just the beans attributed to the cocoa-butter business—by the number of Rockwood shares, it amounted to more than the eighty pounds per share that Pritzker was offering. So people who did *not* turn in their shares would end up with stock worth more cocoa beans per share. Not only that—all the extra beans left on the table by those who did turn in their stock would bump the number of beans per share even more.

Those who kept their stock would also profit because they wound up with a share of the company's plant, its equipment, money due from customers, and the rest of the Rockwood business that was not being shut down.

Warren had inverted the situation, thinking about it from Pritzker's point of view. If Jay Pritzker was buying, he wondered, *why did it make sense to sell?* And after doing the math, he could see that it didn't make sense. The side to play on was Jay Pritzker's. Warren had looked at the stock as a little slice of the business.

With fewer shares outstanding, his slice was worth more. He was taking more risk than had he simply done the arbitrage—but he was also making a calculated bet with odds heavily in his favor. The $2 profit from the arbitrage was easy to earn, however, and riskless. When the price of cocoa beans dropped, the futures contracts protected Graham-Newman. They, and a significant percentage of other shareholders, accepted Pritzker's offer and left a lot of cocoa beans on the table.

Hanging on to the stock, however, turned out to be a brilliant call. Those who played the arbitrage, like Graham-Newman, made their $2 a share. But Rockwood stock, which had traded for $15 before Pritzker's offer, shot up to $85 after it was over. So instead of making $444 from his 222 shares, as he would have from the arbitrage, Warren's calculated bet earned him an extraordinary sum—around $13,000.[11]

In the process, he had also made a point of getting to know Jay Pritzker. He figured anybody smart enough to have figured out that deal "was going to do more smart things later." He went to a shareholders' meeting and asked some questions, and that was his introduction to Pritzker.[12] Warren was then twenty-five, Pritzker thirty-two.

Even working with a relatively small amount of capital—less than $100,000—Warren saw that by using this kind of thinking he could open up a world of possibilities for himself. His only constraints were the money, energy, and time he had available. It was lumberjack labor, but he loved doing it. This was nothing like the way most people invested: sitting in an office and reading reports that described research performed by other people. Warren was a detective, and he naturally did his own research, just as he had collected bottle caps and thought about fingerprinting nuns.

To do his detective work he used the *Moody's Manuals—Industrial, Banks and Finance,* and *Public Utility*. Often he went down in person to Moody's or Standard & Poor's. *"I was the only one who ever showed up at those places. They never even asked if I was a customer. I would get these files that dated back forty or fifty years. They didn't have copy machines, so I'd sit there and scribble all these little notes, this figure and that figure. They had a library, but you couldn't select from it yourself. You had to request things. So I would name all these companies—Jersey Mortgage, Bankers Commercial, all these things that nobody'd ever requested, ever. They'd bring them out, and I'd sit there taking notes. If you wanted to look at SEC documents, as I often did, I went down to the SEC. That was the only way to get them. Then, if the company was nearby, I might very well go see the management. I didn't make appointments ahead of time. But I got a lot done."*

One of his favorite sources was the Pink Sheets, a weekly printed on pink paper, which gave information about the stocks of companies so small that they were not traded on a stock exchange. Another was the National Quotation book, which came out only every six months and described stocks of companies so minuscule that they never even made it into the Pink Sheets. No company was too small, no detail too obscure, to pass through his sieve. *"I would pore through volumes of businesses and I'd find one or two that I could put ten or fifteen thousand dollars into that were just ridiculously cheap."*

Warren was not proud; he also felt honored to borrow ideas from Graham, Pritzker, or any useful source. He called that riding coattails and did not care whether the idea was glamorous or mundane. One day he followed up on a lead of Graham's, the Union Street Railway.[13] This was a bus company in New Bedford, Massachusetts, selling at a big discount to its net assets.

"It had a hundred sixteen buses and a little amusement park at one time. I started buying the stock because they had eight hundred thousand dollars in treasury bonds, a couple of hundred thousand in cash, and outstanding bus tickets of ninety-six thousand dollars. Call it a million dollars, about sixty bucks a share. When I started buying it, the stock was selling around thirty or thirty-five bucks a share." The whole company was selling for half the value of its cash in the bank. Buying the stock was playing a fifty-cent slot machine that was virtually guaranteed to pay off a buck.

Under the circumstances, the company was, naturally, trying to buy its own stock, running an ad in the local New Bedford paper inviting shareholders to sell it to them. Warren, facing competition, began running his own ad: "Write to Warren Buffett at such-and-such address if you want to sell your stock." *"Then, because it was a regulated utility, I got the list from the public-utility commission in Massachusetts that showed the largest shareholders. And I worked that to find more stock. And I wanted to see Mark Duff, who ran the company."*

Visiting management was part of Warren's way of doing business. He used those meetings to learn as much as he could about a company. Getting personal access to management played to his ability to charm and impress powerful people with his knowledge and wit. And he also felt that by becoming friendly with the management of a company, he might be able to influence the company to do the right thing.

Graham, on the other hand, did not visit managements, much less try to influence them. He called this "self-help" and thought it was "cheating" to get the inside dope, even though it was legal. He felt that by definition being an investor meant being an outsider, someone who confronted managements rather than rubbing shoulders with them. Graham wanted to be on a level playing field with the little guy, using only information that was available to everyone.[14]

Following his own instincts, however, Warren decided to visit the Union Street Railway on a weekend.

"I got up at about four a.m. and drove up to New Bedford. Mark Duff was very nice, polite. Just as I was about ready to leave, he said, 'By the way, we've been thinking of having a "return of capital" distribution to shareholders.'" That meant they were going to give back the extra money. *"And I said, 'Oh, that's nice.' And then he said, 'Yes, and there's a provision you may not be aware of in the Massachusetts statutes on public utilities that you have to do it in multiples of the par value of the stock."* The stock had a $25 par value, so that meant it would be paying out at least $25 per share.[*17] *"And I said, 'Well. That's a good start.' Then he said, 'Bear in mind, we're thinking of using two units.' That meant they were going to declare a fifty-dollar dividend on a stock that was selling at thirty-five or forty dollars at that time."* So if you bought a share you got all your money back right away, and then some. And afterward, you still owned the slice of the business represented by your share of stock.

"I got fifty bucks a share, and I still owned stock in the place. And there was still value in it. The bus companies hid assets in these so-called special reserves and land and buildings and car barns where they kept the old streetcars. And I'll never know whether my trip up there precipitated that or not." The conflict-wary Buffett by now had honed to a fine edge the skill of getting his way without asking for it out loud. Thus, while he thought he might have influenced Duff, he could not be certain what had prompted Duff's decision. What mattered to him was that he got the result he wanted without a fight. He had made about $20,000 on this trade. Who knew there was so much money in buses?[15]

Nobody in the history of the Buffett family had ever made $20,000 on one idea. In 1955, that was several times more than the average person earned for a whole year's work. Doubling your money and then some for a few weeks' work was spectacular. And yet, what was more important to him was doing it without taking any significant risk.

* * *

Susie and Warren did not talk about the details of cocoa-bean arbitrage and bus-company stocks. She wasn't interested in money, except as something to be spent. And what she knew was that even though waves of money were rolling in to the little apartment in White Plains, Warren gave her only a small household allowance. She hadn't grown up keeping track of every tiny expense, so being married to a man who saved money by making deals with newsstands to buy week-old magazines meant a whole new way of life. She did her best to manage the household herself, but the disparity between what Warren was making and what he gave his wife had become stunning. One day she telephoned her neighbor Madeline O'Sullivan in a panic.

"Madeline, something terrible has happened," she said. "You've got to come down here!" Madeline rushed down to the Buffett apartment and found Susie distraught. She had accidentally thrown a batch of dividend checks that had been sitting on Warren's desk into the apartment's incinerator chute, which led straight down to the building's furnace.[16]

"Maybe the incinerator isn't running," Madeline said, so they called the building superintendent, who let them into the basement. Sure enough, the incinerator was cold. They rooted through the garbage looking for the checks, with Susie all the while wringing her hands and saying, "I can't face Warren." When they found the checks, Madeline's eyes grew wide. They were for as much as thousands of dollars, not $25 or $10 as she had assumed.[17] The Buffetts, living in the little apartment in White Plains, were getting truly rich.

As Howie screamed and their money grew, Warren became slightly more accommodating with the checkbook. Despite his thriftiness, he was so enthralled with Susie that he ultimately gave her what she wanted. That June, they returned to Omaha for his sister Bertie's wedding to Charlie Snorf. By then, Warren had agreed that Susie could have some help with homemaking. So while they were in Omaha they started searching in a hurry for an au pair to return to White Plains with them.

By advertising in the newspaper, they hired a young woman from a small town who *"seemed a very proper type"*—but wasn't. Warren threw her on a bus back to Omaha; Susie looked for a replacement, because she needed the help—raising Howie was more than a two-person job—and she knew they could afford it.

* * *

Warren's brilliant performance at Graham-Newman had made him the golden boy of the firm. Ben Graham took a personal interest in Warren, and in his warmly outgoing and beleaguered wife. Graham had given them a movie camera and projector as a baby gift when Howie was born, and even showed up at their apartment with a teddy bear for the little boy.[18] On one or two occasions when he and his wife, Estey, had the Buffetts over for dinner, he noticed that Warren gazed googly-eyed at Susie, and that the two of them held hands a lot. But he could also see that Warren did not woo his wife, and that Susie might have liked the occasional romantic gesture.[19] When Susie mentioned with longing that Warren did not dance, Graham dropped by Warren's desk with a gift certificate to the Arthur Murray dance studio in White Plains, where Graham clumped around the dance floor during his own lessons. Graham checked with the studio a little later and found that his protégé had never used the gift certificate. He mentioned this to Warren and encouraged him to go ahead. Now on the hook, Warren stumbled through three lessons with Susie, then dropped out. He never did learn to dance.[20]

This didn't get in the way of his rapid ascent at Graham-Newman. Within eighteen months of his starting there, both Ben Graham and Jerry Newman seemed to be treating Warren as a potential partner, which meant a certain amount of family socializing. In mid-1955, even the dyspeptic Jerry Newman extended an invitation to the Buffetts to what they thought was to be a "picnic" at Meadowpond, the Newmans' mansion in Lewisboro, New York. Susie arrived wearing something suitable for a hayride, only to find the other women in dresses and pearls. Though they felt like a couple of hillbillies, the faux pas did nothing to hurt Warren's golden boy status.

Walter Schloss was not invited to events like these. He had been pigeonholed as a journeyman employee who would never rise to partnership. Jerry Newman, who rarely bothered to be kind to anyone, treated Schloss with more than his usual contempt, so Schloss, married with two young children, decided to strike out on his own. It took him a while to get up the nerve to tell Graham,[21] but by the end of 1955 he had started his own investment partnership, funded with $100,000 raised from a group of partners whose names, as Buffett later put it, "were straight from a roll call at Ellis Island."[22]

Buffett was certain that Schloss could apply Graham's methods successfully and admired him for having the guts to set up his own firm. Though he worried that "Big Walter" was starting out with so little capital that he would not be able to feed his family,[23] Buffett put not a dime of his own money into Schloss's partnership, just as he had not invested in Graham-Newman. It would be unthinkable for Warren Buffett to let someone else invest his money.

He did find someone to replace Schloss, however. Buffett had met Tom Knapp at a luncheon at Blythe and Company down on Wall Street.[24] Ten years older than Warren, tall, handsome, dark-haired, blessed with a wicked sense of humor, Knapp had taken one of David Dodd's night courses and gotten hooked; he changed his major from chemistry to business on the spot. Graham hired Knapp as the second gentile in the firm. *"I told Jerry Newman, 'It's the old story—you hire one gentile, they take over the place,'"* Buffett says.

By the time Knapp was sitting at Walter Schloss's old desk next to Buffett, Warren had begun to be aware of the private side of Graham's life. Knapp himself got initiated when Graham invited him to watch a speech at the New School for Social Research, where, he says, he found himself seated at a table with six women. "As Ben spoke," Knapp says, "I became aware that each one of those women was in love with him. And they didn't seem to be jealous of each other, and they all seemed to know him very, very well."[25]

Indeed, by early 1956, Graham was bored by investing: his outside interests—women, the classics, and fine arts—tugged at him so strongly that he had a foot out the door. One day when Knapp was out, the receptionist directed a gangly young man into the windowless lair where Warren was filling out forms. Looming over him was Ed Anderson, who explained that he was a chemist, like Knapp, not a professional investor. He worked at the Livermore Laboratory of the Atomic Energy Commission in California, but followed the market in his spare time. He had read *The Intelligent Investor,* with its copious examples of cheap stocks like Easy Washing Machine, and was wildly impressed. My God! he thought. That can't be true. How could you buy these companies for less money than they had cash in the bank?[26]

Intrigued, Anderson had been riding Graham's coattails. After buying a single share of Graham-Newman, he used its quarterly statements to figure out what Graham was doing, then bought those stocks. Graham never discouraged this; he liked other people to learn from and emulate him.

Anderson had come in because he was thinking about buying another share of Graham-Newman, but he had noticed an oddity and he wanted to ask about it. Graham had loaded up on shares of American Telephone & Telegraph. It was the least Graham-like stock imaginable—owned, studied, and followed by all, valued fairly, with as little potential as it had risk. Was something going on? he asked Warren.

Warren thought for a second. It was impressive that this man with no business background—a chemist—had the perception to see that AT&T was out of pattern. Too many people thought that "business" was some sort of priesthood practiced only by those with special training. He said to Anderson, "This might not be the best time to buy another share."[27] They chatted a bit longer and then parted in a friendly way, intending to keep up the acquaintance. Warren was very glad that his friend Schloss had gone out on his own. From watching the firm's trading patterns and keeping his ears open, he had already figured out that Graham was going to shut down his partnership.

Ben Graham's career was coming to an end. He was sixty-two years old, and the market had surpassed the peak of 1929.[28] Its priciness made him nervous. He had beaten the market by 2.5 percent for more than twenty years.[29] He wanted to retire and move out to California to enjoy life. Jerry Newman was also retiring, but Jerry's son, Mickey, would stay on. In the spring of 1956 Graham gave notice to his partners. But first he offered Warren the opportunity to become a general partner in the firm. That he would choose someone of Warren's age and experience shows how valuable he had made himself in such a short time. Nevertheless: *"If I had stayed I would have been sort of the Ben Graham of it, and Mickey would have been the Jerry Newman of it—but Mickey would have been the senior partner by miles. It would have been called Newman-Buffett."*

Even though Warren was flattered, he had gone to Graham-Newman to work for Ben. It wasn't worth it to him to stay, not even to be thought of as Graham's intellectual heir. Moreover, all the while that he was carrying out the bus bell-ringer and the cocoa-bean caper he was thinking, "I don't like living in New York. I'm on the train back and forth all the time." Above all, he was not cut out to work with a partner—least of all as someone's junior partner. He turned the offer down.

22

Hidden Splendor

Omaha • 1956–1958

I *had about $174,000, and I was going to retire. I rented a house at 5202 Underwood in Omaha for $175 a month. We'd live on $12,000 a year. My capital would grow."*

In retrospect, it would strike people as odd that at the age of twenty-six, Warren used the term "retire." Maybe it was a way to downplay expectations. Or maybe it referred to his notion of capital as money that worked as a sort of servant to make you rich. The overseer of capital was not an employee.

Mathematically speaking, Warren could theoretically "retire" on his own money and still reach his goal of being a millionaire by age thirty-five.[*18] Since entering Columbia with $9,800, he had grown his money by more than sixty-one percent a year. But he was in a hurry, and it would require a very aggressive compounding rate to meet his goal.[1] Therefore he had decided to start a partnership like Graham-Newman's sister hedge fund, Newman & Graham.[2] It was possible that he did not think of this as having a "job." In fact it was a near-perfect way of not having a job. He would have no boss, could invest from his house, and could put friends and relatives into the same stocks that he would have bought for himself. If he took a quarter of every dollar he earned for these partners as a fee and then reinvested that in the partnership, he could be a millionaire much faster. Armed with Ben Graham's method of buying stocks and a Graham-like hedge fund, he had every reason to think of himself as a rich man.

There was only one problem with his idea. He couldn't tolerate it if his partners criticized him because the stocks went down. But Warren had figured out a solution. He planned to invite only his family and friends —people he was sure trusted him—into the partnership. On May 1, 1956, he started Buffett Associates, Ltd., a partnership based on the Newman & Graham model,[3] with seven partners.

Doc Thompson invested $25,000. *"Doc Thompson was the kind of guy, he gave me every penny he had, basically. I was his boy."* Warren's sister Doris, with her husband, Truman Wood, put in $10,000. His aunt Alice Buffett put in $35,000. *"I had sold securities to other people before that, but now I became a fiduciary, and for people who were enormously important to me. These were the people who believed in me. There's no way in the world I would have taken my aunt Alice's or my sister's or my father-in-law's money if I had thought that I'd lose it. At that point I didn't think I could lose money over time."*

He already had a separate partnership with his father, and his sister Bertie and her husband had no money they could part with. So his Wharton roommate Chuck Peterson, who put in $5,000, became his fourth partner. Al Jolson aside, he knew all about Warren's brains and financial maturity from having been his roommate. Chuck had been one of the first to let Warren dispense him scrips as a prescriptionist, buying stocks from him before he went to New York City. "I learned real fast how bright he is and how honest he is and how capable," he says. "I would trust him until proven otherwise."[4] Warren's fifth partner was Peterson's mother, Elizabeth, who invested $25,000 of the money she had inherited when her husband died the year before.

The sixth partner, Dan Monen, was a quiet, stocky, dark-haired young man who used to play with Warren as a child, digging up dandelions in Ernest Buffett's backyard. Now Warren's lawyer, he didn't have much money but put in what he could: $5,000.

Warren was the seventh. He put in only $100. The rest of his share would come from future fees he earned by managing the partnership. *"In effect, I got my leverage from managing the partnership. I was brimming with ideas, but I was not brimming with capital."* Actually, by most of the country's standards, Warren *was* brimming with capital. But he viewed the partnership as a compounding machine—once money went into it, he did not intend to make withdrawals. So he needed to earn the $12,000 a year his family would live on from the rest of his funds. He invested that money separately.

He devised a formula to charge his new partners. *"I got half the upside above a four percent threshold, and I took a quarter of the downside myself. So if I broke even, I lost money. And my obligation to pay back losses was not limited to my capital. It was unlimited."*[5]

At the time, Warren was already managing money for Anne Gottschaldt and Catherine Elberfeld, the mother and aunt of Fred Kuhlken, a friend from Columbia. When Fred left for Europe the year before, he had asked

Warren to look after part of his aunt's and mother's money.[6] Ever since, Warren had been investing it with utmost caution in government bonds under a different, more modest fee arrangement.

He could have invited Gottschaldt and Elberfeld into the partnership, but he felt that it was unfair to charge them a higher fee than they were already paying. Of course, if the partnership was the sure thing he thought it was, that meant he was depriving them of a golden opportunity. If something went wrong with the investments, however, his aunt and his sister and Doc Thompson would never condemn him. He wasn't so sure about anybody else.

Acting as a "fiduciary" meant to Warren that any responsibility he took on would be unlimited. To lay out the ground rules for his partners, he called the first official meeting of Buffett Associates on the very day he founded the partnership. Chuck got them a reservation for dinner at the Omaha Club, the best place in town if you wanted a private room. Warren meant to carefully define and limit his responsibilities; one responsibility he was not assuming was picking up the check for dinner. He told Chuck to pass the word that everyone was going dutch.[7] He then used the dinner as an opportunity to talk not just about the partnership's ground rules, but about the stock market. Already he viewed the partnership as a teaching exercise.

The partners quickly split into two camps: the teetotalers and the rest. From his end of the table, Doc Thompson suggested, in a paternal way, that the other faction was going to hell. It was Warren, however, who was the preacher that night; they were there for him to hold forth.

"I started with an agreement with the investors, which has not needed to be changed much as we've evolved. All kinds of good things have flowed out of that, you know. It is the least complicated thing I can imagine.

"I gave them a little summary of the ground rules: Here's what I can do. Here's what I can't do. And here are some things I don't know whether I can do or not. Here's how I'll judge myself. It was fairly short. If you don't feel this way you shouldn't join, because I don't want you unhappy while I'm happy or vice versa."[8]

After Warren launched the partnership, the Buffetts returned to New York for their final summer. Warren would be helping Ben Graham and Jerry Newman as the partnership wound down. Mickey Newman was now the CEO of Philadelphia & Reading, a full-time job. With neither he nor Warren available to serve as general partner, Graham had decided to shut down the firm.[9] Warren had rented a rustic seaside cottage on Long Island for his family from his friend Tom Knapp. The house, part of a group built for people fleeing an influenza epidemic many years before, sat on West Meadow Beach, near Stony Brook on Long Island's North Shore, and faced Connecticut, across Long Island Sound.

During the week, Warren saved money by bunking in the city with his stockbroker friend Henry Brandt, whose wife and children were also summering on Long Island. On the weekends he joined his family at the shore and worked in a tiny bedroom in the house. The neighbors told the Knapps they never saw him.[10] While Warren worked, Susie, who was afraid of the water and never swam, beachcombed with the kids along the bluffs near the water's edge. Since the cottage had minimal plumbing facilities, the Buffetts fetched drinking water from a spring across the street, and Susie bathed Little Susie, now almost three, Howie, eighteen months old, and herself in the unheated outdoor shower.

That summer brought them two pieces of shocking news. The father of Warren's boyhood friend Bob Russell had committed suicide. And Anne Gottschaldt and Catherine Elberfeld, the mother and aunt of Fred Kuhlken, Warren's friend from Columbia, called to say that Fred had been killed in Portugal after his car skidded eighty feet and rammed into a cork tree.[11]

* * *

As the summer ended, the Buffetts made their plans to return to Omaha. The extreme caution Warren displayed in trying never to disappoint anyone stood in sharp contrast with his risky decision to pursue an investing career working on his own outside of New York City. The market was composed of relationships, people who lunched together at the Stock Exchange or played poker once a week. It hummed along on tips and rumors, gossip passed on by personal contacts and connections made at investor luncheons, in bars, on squash courts, at chance meetings at university-club coat checks. While every small regional city had its little brokerage firm or two—like Buffett-Falk—these were not important players. The hinterlands were staffed by stockbrokers—prescriptionists who survived or prospered by filling the scrips written by the Manhattan money doctors. At that time, no serious American money man worked anywhere but New York City. To leave all this, to go it alone, to think of getting really rich anywhere farther than a limo ride from Wall and Broad was a truly bold and venturesome stroke.

Indeed, for a college graduate to become self-employed, to work at home, to work alone, was strikingly unusual in the 1950s. The Man in the Gray Flannel Suit was the guy who got ahead.[12] Businessmen joined a big organization—the bigger the better—then competed with polished ferocity for the best-paying job on the steady climb up the ladder of success, trying not to break a sweat or a golf club along the way. They competed to amass not riches but power—or at the very least to buy the right kind of house in a good suburban neighborhood, to get a new-model car every year, and to pave the way for a lifetime of security.

In his choice of occupation, therefore, Warren was as rare as a Buffett who voted for Democrats. Well aware of her husband's unusual qualities—if not of the apparent riskiness of the course he was charting—Susie arranged for the movers to come, said good-bye to the neighbors, sent out the change-of-address cards, had the telephone service turned off, and packed up their belongings. She flew to Omaha with Little Susie and Howie and moved them all into the house Warren had rented from Chuck Peterson on Underwood Avenue. He had chosen an inviting gray two-story Tudor with picturesque half-beams, a big stone chimney, and a cathedral ceiling. Even the decision to rent a home had been unconventional; owning a home was the quintessence of what most young Americans aspired to in the mid-1950s. The hopelessness of the Depression and the dreary wartime days of making do were fading into memory. Americans stocked their new houses with all the exciting new features and appliances that were suddenly available: washer-dryers, freezers, dishwashers, electric mixers. The Buffetts had plenty of money to buy all these things. But Warren had other plans for his capital, so they rented. And the house they were renting, while attractive, was just barely big enough for them. Howie at almost two would have to sleep in a largish closet.

As Susie began to settle her family in Omaha, Warren closed out his own affairs in New York. He packed up his own desk and files, and sent out his own notices to the companies whose stocks he owned to ensure that the dividend checks followed him to Omaha. Then he got in his car and started driving back to Nebraska, visiting companies along the way.

"I did this zigzag across the country. I just thought it was a great time to hit these companies. I drove through Hazleton, Pennsylvania, and visited the Jeddo-Highland Coal Company. I went through Kalamazoo, and saw the Kalamazoo Stove and Furnace Company. This little odyssey went through Delaware, Ohio, and I visited Greif Bros. Cooperage. That was a company selling at a ridiculously cheap price"—a company he had first discovered in 1951 by flipping through the *Moody's Manuals.* He and his father had each bought two hundred shares and put them in their little partnership.

Warren arrived in Omaha toward the end of the summer and found that he was needed at home. Little Sooz, calm and timid, sat watching while her brother's inexhaustible demands vacuumed up her mother's energies.[13] But in the evenings she wanted her father; she was now afraid to go to bed. When they arrived at the house on Underwood, a moving-company man wearing glasses had spoken to her, and though she did not remember his saying anything untoward, she had frozen in terror and was now convinced that the "glasses man" lurked just outside her bedroom, next to a wrought-iron balcony that overlooked the living room. Warren had to inspect the balcony every night and reassure her that it was safe to go to sleep.

After he had taken care of the "glasses man," he went down the hall to the tiny sunporch off his and Susie's bedroom and got down to business, either partnership work or preparing his lessons—for the first thing he had done when he returned to Omaha, besides forming a partnership, was to take on two classes for the fall

semester at the University of Omaha: Investment Analysis for Men Only, and Intelligent Investing. Before long he would add a third course, Investing for Women. The terrified boy who so recently couldn't even strike up a conversation in a Dale Carnegie class had vanished. In his place was a still-awkward young man who nonetheless made a striking impression as he moved restlessly around the room, exhorting the students and spouting an inexhaustible series of facts and figures. Dressed as usual in a cheap suit that looked a couple of sizes too large, he seemed more like a youngish preacher from some missionary sect than a college lecturer.

Despite his brilliance, Warren was still very immature. For Susie, his helplessness at home meant that he was like having a third child to care for. His personality and interests also shaped their social life. In Omaha, a midsize Midwestern city with relatively few important cultural institutions, weekends were filled with weddings, parties, teas, and charity events. The Buffetts lived a much quieter life than most young married couples of their class and era. Although Susie began to climb the ladder of the Junior League and they joined a "gourmet group"—where Warren politely asked each month's hostess to make him a hamburger—they socialized with friends less in crowds than in ones and twos. Most of their social life took place at dinner with other couples, in small groups, or at occasional dinner parties where Warren could talk about stocks. It was always the same: Warren entertained, either holding forth to an audience on stocks or playing the ukulele. Under Susie's tutelage, he could now exchange remarks about other subjects more easily than before, but his mind remained fixated on making money. During meals and parties at home, he often fled small talk by leaving the table to go upstairs. But unlike Ben Graham, he was not upstairs reading Proust; he was working. As for Susie, she knew little and cared less about what Warren did. "I used to write 'security analyst' for his job, and people thought he checked burglar alarms," she said.[14]

All Warren's recreations remained repetitive, competitive, or, better yet, both. He found playing bridge with Susie unendurable because she wanted the other side to win, and soon sought other partners.[15] His mind was like a restless monkey; to relax, he needed an active form of concentration that could keep the monkey occupied. Ping-Pong, bridge, poker, golf all absorbed him and took his mind off money temporarily. But he never hosted backyard barbecues, lazed around a swimming pool, stargazed, or simply went for a walk in the woods. A stargazing Warren would have looked at the Big Dipper and seen a dollar sign.

All of this, plus his nonconformist streak, meant that Warren was not a "joiner," sitting through committee and board meetings. Still, family loyalty did lead him to say yes when his uncle Fred Buffett came over to the house and asked him to join the Rotary Club. He was fond of Fred, proprietor of the Buffett grocery; he and Fred went bowling at the Rotary (repetitive, competitive)—and besides, his grandfather had been president of the Rotary.

On the other hand, when asked to join the Knights of Ak-Sar-Ben, a more important group of civic leaders that combined philanthropy, business, boosterism, and social activities, he said no. For a budding money manager who needed to raise funds for his business, that was like thumbing his nose in the faces of the men who ran Omaha—an act of cocky self-assurance, even arrogance, which set him apart from much of his social set. His sister Doris had made her debut as a Princess of Ak-Sar-Ben. The sister of his brother-in-law and former roommate, Truman Wood, had been Queen of Ak-Sar-Ben. Friends like Chuck Peterson were regulars on its social circuit. As a Congressman, Howard had been obligated to join. But Warren found social hierarchy repugnant and he disdained the smoke-filled backroom clubbiness and conformity of the Ak-Sar-Ben crowd. These were the people who had looked down on his father as the "son of a grocer man." Warren reveled in the chance to spurn Ak-Sar-Ben, and disparaged it with withering comments.

Susie had her own gentler brand of nonconformity. She began to bring Warren into her unusually diverse network of friends. Since high school, she had prided herself on her openness and her commitment to inclusiveness at a time when most people chose friends who were religious, cultural, ethnic, and economic clones. Unlike her own family, Susie did not think this way, and many of her friends—and by this time many of Warren's—were Jewish. In segregated Omaha—not to mention within the Buffett and Thompson families—choosing to cross these social lines was a bold, even defiant act. Susie was aware of this, just as she had been aware in high school and college that dating a Jew was considered shocking. Although she came from a prominent family, social status had value to her mostly as a way to make her friends feel more included. Warren, the anti-elitist, found this aspect of Susie highly attractive. And the Jewish friends he'd made at

Columbia and while working for Graham-Newman had opened his eyes to anti-Semitism.

In contrast to Susie, Warren's mother had always been obsessed with fitting in. Leila had researched her ancestry and joined the Daughters of the American Revolution and the Huguenot Society, perhaps searching the past for a stability that she could not find in the present, and certainly not in her immediate family. She had recently received word from Norfolk State Hospital that her sister Bernice had thrown herself into the river in an apparent suicide attempt. Leila, now responsible for Bernice and their mother, handled their affairs in businesslike fashion, striving to be a dutiful daughter while keeping some distance from the family's problems. She and her sister Edie went to visit Bernice and their mother periodically, Leila with less enthusiasm. The Stahl family's history of mental illness was a threatening and shameful topic in the Buffett family, just as it was in society as a whole at the time. Ozzie and Harriet Nelson, Ward and June Cleaver, the prototypical white Anglo-Saxon Protestant American families so ubiquitous on television that they seemed to define an idyllic sort of normality, did not have mentally ill or suicidal family members. The Buffetts' perception of the family history was further muddied by uncertainty over Stella's and Bernice's diagnoses. The doctors could give only vague descriptions of what were clearly serious problems. Obviously, however, the mental illness was inherited, and it manifested in adulthood. Warren and Doris, who were close to their aunt Edie, knew that their mother had grown apart from her as Edie, too, had become more impulsive and moody. They had some suspicions that Leila's own behavior and personality might be at least partly related to the family lineage. The ticking clock hung over them, and they examined themselves for any signs of abnormality.

Warren, who desperately wanted to be but had never felt "normal," assuaged his anxiety with statistics, reasoning that the mysterious disorder seemed to affect only the family's women. He never dwelled on the unpleasant. He would later come to think of his memory as functioning like a bathtub. The tub filled with ideas and experiences and matters that interested him. When he had no more use for information, *whoosh*—the plug popped up, and the memory drained away. If new information about a subject appeared, it would replace the old version. If he didn't want to think about something at all, down the drain it went. Certain events, facts, memories, and even people appeared to vanish. Painful memories were the first to be flushed. The water went somewhere, and along with it might go context, nuance, and perspective, but what mattered was that it was gone. The bathtub memory's efficiency freed up enormous amounts of space for the new and the productive. At times, however, disturbing thoughts did bubble up from somewhere, as when he expressed concern for other people: for example, several friends who cared for mentally ill wives. Buffett thought of the bathtub memory as a helper that allowed him to "look forward," rather than "looking backward" all the time like his mother. And it allowed him, at the age of twenty-six, to ruminate in depth on business to the exclusion of almost everything else—in pursuit of his goal of becoming a millionaire.

The fastest way to that goal was to raise more money to manage. In August, he went back to New York to attend the final shareholders' meeting of the Graham-Newman Corporation. Everyone important on Wall Street seemed to be present at Graham-Newman's wake. Investor Lou Green, his head wreathed in clouds of foul-smelling smoke from an enormous stogie, towered over them from his six-foot-four height.[16] He accused Graham of making a big mistake. Why had Graham and Newman not developed talent? he asked. "They'd been working here for thirty years building up this business," he declared to everyone standing nearby. "And all they would have had to run it was this kid named Warren Buffett. He's the best they could come up with. And who'd want to ride with him?"[17]

Warren's long-ago mistake of telling Lou Green that he bought Marshall-Wells "because Ben Graham bought it" had now come back to dilute Graham's endorsement of him in front of an important audience, with unknowable consequences. Yet Graham's imprimatur had already paid him one important dividend. Homer Dodge, a Harvard-educated physics professor who was the president of Norwich University in Northfield, Vermont, until 1951, and a long-time investor in Graham-Newman, had gone to Graham and asked him what he should do with his money now that Graham-Newman was shutting down. *"And Ben said, 'Well, I've got this fellow who used to work with us that might be a possibility.'"*

So one hot Midwestern day that July, Dodge had stopped in Omaha on his way to a vacation out west, a blue canoe strapped to the roof of his woody wagon. *"He talked to me for a while and said, 'Would you handle my money?' And I set up a separate partnership for him."*

Dodge gave him $120,000 to manage in the Buffett Fund, Ltd., on September 1, 1956.[18] That was more money than the original Buffett Associates partnership—an enormous step[*19] that made Warren a professional money manager, not just a former stockbroker running a little money for his family and friends. Now he had invested for someone recommended by *Ben Graham*.[19]

"Later in the year, a friend of mine, John Cleary, who used to be my dad's secretary in Congress, saw in a legal notice that I'd formed this partnership and asked me what it was. I told him about it, and he said, 'Well, how about doing it with me?' So we formed something called B-C, Ltd. That was the third partnership. He put in fifty-five thousand dollars."[20]

With the formation of the B-C partnership on October 1, 1956, Warren was now managing more than half a million dollars, including his own money, which was not in any of the partnerships. He operated out of a tiny study at home that could be entered only by passing through the bedroom. He worked odd hours, a night owl like Susie, reading annual reports in his pajamas, drinking Pepsi-Cola and eating Kitty Clover potato chips, enjoying the freedom and solitude. He pored over the *Moody's Manuals* looking for ideas, absorbing statistics on company after company. During the day, he went to the library and read newspapers and industry trade magazines. As with his boyhood paper route, he took care to handle everything of value personally, a pleasure in and of itself. He typed his own letters on an IBM typewriter, carefully lining up his letterhead sheet on the carriage. To make copies he slid sheets of blue carbon paper and tissue-thin onionskin behind the first page. He did all his own filing. He did the bookkeeping himself and prepared his own tax returns. With its numbers, accuracy, and the measuring of results, the recordkeeping aspect of the job pleased him.

Every stock certificate was delivered directly to him, made out in the partnerships' names, rather than left on deposit with a broker as was the usual practice. When they arrived, he carried them—smooth cream-colored diplomas in investing, engraved with finely etched drawings of railroads and bald eagles, sea beasts and toga-clad women—down to the Omaha National Bank in his own hands and placed them in a safety deposit box. Whenever he sold a stock, he went to the bank, riffled through the collection of certificates, and mailed off the correct ones from the post office on 38th Street. The bank would call to let him know when a dividend check came in to be deposited, and he would go there, examine the check, and endorse it personally.

He tied up the family's single telephone line with his daily calls to the handful of brokers he used. His expenses were as close to zero as he could get. He listed them by hand on a lined sheet of yellow paper: 31¢ for postage, $15.32 for a *Moody's Manual,* $4.00 for the *Oil & Gas Journal,* $3.08 for telephone calls.[21] Except for more meticulous accounting and a great deal more thought, he ran the business much as though he were just anybody trading stocks through a broker for a personal account.

At the end of 1956, Warren wrote a letter to the partners outlining the partnership's results at year-end. He reported that it had earned a total income of slightly more than $4,500, beating the market by about four percent.[22] By then, Dan Monen, his lawyer, had withdrawn from the first partnership, with Doc Thompson buying out his share. Monen had joined Warren on a personal side project that he had been pursuing for some time: buying the stock of an Omaha-based insurer, National American Fire Insurance. This company's worthless stock had been sold to farmers all over Nebraska in 1919 by unscrupulous promoters in exchange for the Liberty Bonds issued during World War I.[23] Since then, its certificates had lain crumbling in drawers, while their owners gradually lost hope of ever seeing their money again.

Warren had discovered National American while working at Buffett-Falk, flipping through the *Moody's Manual.*[24] The company was headquartered only a block away from his father's office. William Ahmanson, a prominent Omaha insurance agent, had originally been sucked into it unawares, set up as a local front man for what had started out as a fraud. But the Ahmanson family had gradually turned it into a legitimate company. Now, Howard Ahmanson, William's son, was feeding top-drawer insurance business into National American through Home Savings of America, a company he had founded in California, which was becoming one of the largest and most successful savings-and-loan companies in the United States.[25]

The defrauded farmers had no idea that their moldering paper was now worth something. Howard had been quietly buying the stock back from them on the cheap for years through his younger brother Hayden, who ran National American. By now the Ahmansons owned seventy percent of the company.

Warren admired Howard Ahmanson. *"Nobody else was quite as audacious at managing capital as Howard Ahmanson. He was very shrewd in a lot of ways. Formerly, a lot of people came in to Home Savings and paid their mortgages in person. Howard put the mortgage at the farthest branch away from where you lived so that you paid by mail and didn't spend half an hour of one of his guys' time telling them about your kids. Everybody else had been to see It's a Wonderful Life and felt that you should do this Jimmy Stewart stuff, but Howard didn't want to see his customers. His operating costs were way under anybody else's."*

National American was earning $29 per share, and Howard's brother Hayden was buying its stock for around $30 per share. Thus, as with the rarest and most attractive of the cheap stocks that Warren stalked, the Ahmansons could pay virtually the entire cost of buying a share of stock out of one year's profits from that single share. National American was the cheapest stock Warren had ever seen—except for Western Insurance. And it was a nice little company, too, not a soggy cigar butt.

"I tried to buy the stock for a long time. But none of it was getting to me, because there was a security dealer in town and Hayden had given this guy the shareholders list. This stockbroker—he regarded me as a punk kid. But he had the list. And I didn't have the list. So he was buying the stock at thirty for Hayden's account."

Cash on the barrel from Hayden Ahmanson sounded good to some of the farmers compared to their worthless certificates. Though they had paid around $100 per share many years before and were only receiving $30, many of them had gradually convinced themselves that they were better off without the stock.

Warren was determined. *"I looked it up in some insurance book or something. If you went back to the twenties you could see who were the directors. They made some of these bigger stockholders the directors from the towns they worked the hardest for sales. There was a town called Ewing, Nebraska, which has got no population at all. But somebody sold a lot of stock out there. And that's how they probably got the local banker on the board thirty-five years earlier."*

So Dan Monen, Warren's partner and proxy, went off to the countryside carrying wads of Warren's money and some of his own. He cruised around the state in a red-and-white Chevrolet, showing up in rural county courthouses and banks, casually asking who might own shares of National American.[26] He sat on front porches, drinking iced tea, eating pie with farmers and their wives, and offering cash for their stock certificates.[27]

"I didn't want Howard to know because I was topping his price. He had been picking it off at thirty bucks, and I'd had to raise the price some. The shareholders had been listening for probably ten years at thirty bucks, so it was the first time the price moved."

The first year Warren paid $35 each for five shares of the stock. The farmers' ears pricked up. Now they realized that buyers were competing for the stock; they began to think maybe they weren't better off without it. The price had to keep moving up. *"Finally, toward the end, I paid a hundred. That was the magic number, because it was what they'd paid in the first place. A hundred bucks, I knew, would bring out all the stock. And sure enough, one guy came in when Dan Monen was doing this and he said, 'We bought this like sheep, and we're selling it like sheep.'"*[28]

That they were. Many had sold at less than three times the $29 a year the company was earning. Monen eventually accumulated two thousand shares, ten percent of National American's stock. Warren kept it in the original shareholders' names, with a power of attorney attached that gave him control, rather than transferring it into his name. *"That would have tipped Howard off to the fact that I was out there competing with him. He didn't know. Or, if he did, he had insufficient information. I just kept collecting shares. Then, the day I walked into Hayden's office, I plopped them all down and said I wanted to transfer them to my*

name. And he said, 'My brother's going to kill me.' But in the end, he transferred the stock."[29]

The brainstorm behind Warren's National American coup had been more than just the price. He had learned the value of gathering as much as possible of something scarce. From license plates to nuns' fingerprints to coins and stamps, to the Union Street Railway, and National American, he had always thought this way, a born collector.[30]

Alas, this voracious instinct could steer him awry on occasion. Tom Knapp, who had gone to work for a small broker, Tweedy, Browne and Reilly, after helping Jerry Newman close down the remnants of Graham-Newman, came out to visit Warren and to go hear Ben Graham give a speech in Beloit, Wisconsin. Driving through the Iowa cornfields on the way, Knapp mentioned that the U.S. government was about to take the four-cent Blue Eagle stamp out of circulation. The cash register *dinged!* in Warren's head. "Let's stop at a few post offices and see if they have any four-cent stamps," he said on the way back. Knapp went into the first post office and returned to say that it had twenty-eight stamps. "Go buy them," said Buffett. They talked about it some more and decided to write to post offices after they returned home, to offer to buy their stamp inventory. The stamps started coming in a few thousand at a time. Then Denver replied and said they had twenty pads. A pad is a hundred sheets of a hundred stamps. That meant Denver had two hundred thousand stamps.

"We might as well control the issue," Warren said. They spent $8,000 and bought the pads.

"And that was our mistake," says Knapp. "We should have let the Denver post office send them back to Washington to reduce the supply."

Through expending enormous effort to become virtual post offices themselves—with most of the work done by Knapp—they gathered more than six hundred thousand Blue Eagle stamps, collectively spending roughly $25,000. For Warren that was a lot, considering his attitude about money and his net worth. They stored the piles of stamps in their basements. And then they realized what they had done. They had laboriously acquired basements full of stamps that would never be worth more than four cents apiece. "When you have so many stamps," Knapp explains, "there are not many collectors."

So the next task became disposing of the stamps. Warren expertly delegated the problem of getting rid of $25,000 worth of four-cent stamps to Tom. Then he simply put it out of his mind, except for the funny story, and instead turned back to what was actually important: raising money for the partnerships. In June 1957, another one of the original partners, Elizabeth Peterson, Chuck's mother, asked Warren to set up a fourth partnership, to be called Underwood, investing another $85,000.[31]

A few months later, in the summer of 1957, *"I got a call from Mrs. Edwin Davis. They used to be customers of the Buffett grocery store. Her husband, Dr. Davis, was a very prominent urologist in town. They lived just a few blocks from here. She said, 'I understand you manage money. Would you come down and explain it to us?'"*

Dr. Edwin Davis was nationally known. One of his patients, Arthur Wiesenberger of New York City, was one of the most famous money managers of the era. He had at some point come to Omaha to be treated for prostate problems, and Davis became his client.

Wiesenberger published *Investment Companies,* an annual "bible" on closed-end investment funds. These were like publicly traded mutual funds, except that they did not accept new investors. They nearly always sold at a discount to the value of their assets, which made Wiesenberger a proponent of buying them.[32] In short, they were like mutual-fund cigar butts. The summer before graduate school, Warren had sat in a chair at Buffett-Falk's office, reading Wiesenberger's bible while Howard worked. *"Before I went to Columbia,"* he says, *"I used to spend hours and hours reading that book from cover to cover, religiously."* He bought two of Wiesenberger's cigar butts, United States & International Securities and Selected Industries, which in 1950 had made up more than two-thirds of his assets.[33] While at Graham-Newman, he also managed to meet Wiesenberger and had impressed him, *"even though I wasn't very impressive in those days."*

In 1957, Wiesenberger called Dr. Davis out of the blue and explained that, although it was not necessarily in his own interest to do so, he was recommending a young man to him. "I tried to hire him myself," said Wiesenberger, "but he was forming a partnership and so I couldn't."[34] He urged Davis to consider investing with Buffett.

Shortly afterward, Warren scheduled a meeting with the Davis family on a Sunday afternoon. *"I went down to their place and sat in their living room and talked to them for about an hour. I said, 'Here's how I manage money and the arrangement I have.' I was probably twenty-six. I looked about twenty years old at the time."* Actually, he looked more like eighteen, according to Eddie Davis: "His collar was open; his coat was too big. He talked so very fast." At the time, Warren went around Omaha wearing a mangy sweater —which one person observed probably should have been given to Goodwill—an old pair of pants, and scuffed shoes. *"I acted immature for my age,"* Buffett recalls. *"The kind of things I talked about were what you would expect from a much younger person."* In fact, there was still more than a trace of the hand-drumming, "Mammy"-singing boy from Penn. *"You had to overlook a lot back then."*

Yet not when he was talking about the partnerships. Warren was not there to sell the Davises. He laid out his ground rules. He wanted absolute control over the money and would tell his partners nothing about how it was invested. That was the sticking point. Not for him was Ben Graham's handicap of people riding on his coattails. And his solution to the problem of people being disappointed was that he wasn't going to give them the score after every hole, only once a year after playing eighteen holes. They would get an annual summary of his performance, and they could put money in or withdraw it only on December 31. The rest of the year, their money would be locked into the partnership.

"All the while, Eddie paid no attention to me. Dorothy Davis listened very intently, asking good questions. Eddie was over in the corner doing nothing. He seemed like a very old guy to me, but he was not yet seventy. When we got all the way through, Dorothy turned to Eddie and said, 'What do you think?' Eddie said, 'Let's give him a hundred thousand dollars.' In a much more polite way, I said, 'Dr. Davis, you know, I'm delighted to get this money. But you weren't really paying a lot of attention to me while I was talking. How come you're doing it?'

"And he said, 'Well, you remind me of Charlie Munger.'[35]

"I said, 'Well, I don't know who Charlie Munger is, but I really like him.'"

But the other reason the Davises were so willing to invest with Warren was because, to their surprise, he "knew more about Arthur Wiesenberger than they did."[36] They also liked the way he laid out his terms—clear and transparent, so they knew whose side he was on. He would win or lose along with them. As Dorothy Davis put it, "He's smart, he's bright, and I can tell he's honest. I like everything about this young man." On August 5, 1957, the money from the Davises and their three children seeded the fifth partnership with $100,000. It was called Dacee.[37]

With Dacee, Warren's business jumped another leg upward. He could now land bigger positions in larger stocks. In his personal portfolio, he still played with things like the "penny" uranium stocks that had been in vogue a few years earlier when the government was buying uranium. These were now fantastically cheap.[38] Warren bought companies like Hidden Splendor, Stanrock, Northspan. *"There were some attractive issues—it was shooting fish in a barrel. They weren't huge fish, but you were shooting them in a barrel. You knew you were going to make good money. It was minor. The bigger stuff I was putting in the partnerships."*

Having new partners meant more money, of course, but it also meant that the number of stock certificates and amount of paperwork managing the five partnerships plus Buffett & Buffett increased substantially. He had to hustle, but it felt good. The shortfall, as always, was money—he never seemed to have enough. The kind of companies he was researching often had market values of one to ten million dollars, so he wanted as much as $100,000 to get a significant position in their stocks. Getting more money to manage was key.

By this time Dan Monen was ready to get back into the partnership, and he and his wife, Mary Ellen, formed the nucleus of Warren's sixth partnership, Mo-Buff, on May 5, 1958. Thanks mostly to National American, the Monens, who had had only $5,000 to invest two years earlier, were now able to put in $70,000.[39]

At the time, Warren Buffett probably understood the potential of money management to beget more money better than anyone on Wall Street. Every dollar added to a partnership would net him a share of what he earned for his partners.[40] Each of those dollars, reinvested, would generate earnings of its own.[41] Those earnings, reinvested, would beget still more earnings. The better his performance, the more he would earn, and the larger his share of the partnerships would grow, enabling him to earn even more. His talent for investing could exploit that potential of managing money to the hilt. And despite Warren's apparent awkwardness, he was indisputably successful at merchandising himself. Even though he was nearly invisible in the investing world, the snowball was starting to roll.

With momentum behind him, Warren realized it was time to leave a house where there was barely room for a family with two young children—one an unusually energetic three-and-a-half-year-old—and a third on the way. The Buffetts bought their first house. It stood on Farnam Street, a Dutch Cape set back on a large corner lot overlooked by evergreens, next to one of Omaha's busiest thoroughfares. While the largest house on the block, it had an unpretentious and charming air, with dormers set into the sloping shingled roof and an eyebrow window.[42] Warren paid $31,500 to Sam Reynolds, a local businessman, and promptly named it "Buffett's Folly."[43] In his mind $31,500 was a million dollars after compounding for a dozen years or so, because he could invest it at such an impressive rate of return. Thus, he felt as though he were spending an outrageous million dollars on the house.

Just before the moving van left the house on Underwood Avenue, Warren took five-year-old Little Susie back up the stairs to the wrought-iron balcony. "The glasses man is staying here," he said. "You need to say good-bye to him." Susie Jr. said good-bye, and, indeed, the glasses man remained behind.[44]

Big Susie's job was to oversee the move, get them settled into the house, and lasso Howie while more than eight months pregnant with her third child. As longtime friends observed, Howie was a "hell-raiser." The inexhaustible Buffett energy poured from him in such a whirlwind that he was nicknamed the Tornado, a cousin to Warren's childhood nickname, Firebolt—but with a very different connotation. As soon as Howie could walk, says Buffett, he became peripatetic. He dug up the garden with his Tonka toys, and Susie took them away, then he tore the house apart to find them. Once he did, he dug the garden up again. Susie snatched away the front-loader, and the battle repeated itself.[45]

A week after arriving at Farnam Street and just a day before the Mo-Buff partnership was born, the Buffetts' second son, Peter, arrived. From the start he was a quiet, easy baby. But shortly after his birth, Susie came down with a kidney infection.[46] Since her rheumatic fever and ear infections as a child, she had always considered herself healthy. The kidney infection did not concern her as much as shielding Warren from dealing with it; his discomfort around illness was so great that she had trained the family to pay attention to him whenever somebody got sick, as if he, too, were ill and required care. Her real focus was on having a home of her own at last. Even illness and the demands of caring for a new baby and two small children could not suppress her urge to decorate. As it sprang to life, she redid the house in cheery contemporary style, with chrome-and-leather furniture and huge, bright modern paintings covering the white walls. The $15,000 decorating bill totaled almost half of what the house itself had cost, which "just about killed Warren," according to Bob Billig, a golfing pal.[47] He didn't notice colors or respond to visual aesthetics and so was indifferent to the result, seeing only the outrageous bill.

"Do I really want to spend $300,000 for this haircut?" was his attitude. If Susie wanted to spend some trifling sum of money, he would say, "I'm not sure I want to blow $500,000 that way."[48] But since Susie wanted to spend money that he wanted to withhold, and since he wanted Susie to be happy and she wanted to please him, their personalities were gradually meshing into a system of bargaining and trades.

The outrageous bill included the cost of a device that became an object of wonderment among their friends

and neighbors—one of the first color television sets in Omaha.[49] Susie liked having her house as the hub of the neighborhood, so before long, on Saturday mornings, all the kids from the block would pile onto the black leather sofa in the little TV room and watch cartoons.[50]

Willa Johnson, a large, capable black housekeeper who quietly became Susie's extra set of hands, eyes, and ears, joined the household, freeing Susie to find an outlet for her creativity. She and a friend, Thama Friedman, decided to set up a contemporary art gallery. As with everything involving money, the decision had to be cleared with Warren. Before forking over Susie's share, he "interviewed" them in his sitting room and asked, "Do you expect to make money?" Friedman answered, "No," whereupon Buffett replied, "Okay, Susie can come in as an 'investor.'"[51] He liked the idea of her doing something of her own and, according to Friedman, wanted them to step back and think about the gallery in a businesslike way while being realistic that it was a hobby. Warren always thought of money in terms of the return on capital laid out, and since the gallery wasn't going to make a profit, he wanted them to limit their spending. Susie's involvement in the gallery was truly a hobby, says Friedman, who managed it day to day.

Susie was considered a flexible, easygoing, but attentive mother by her friends and relatives. Now that the Buffetts lived closer to both their parents, the children spent more time with their grandparents. The atmosphere at the Thompsons', a block and a half away, was relaxed and enjoyable; they didn't care if Howie broke a window or the kids made a mess. Dorothy Thompson got into the spirit of things, playing games, organizing Easter egg hunts, and making elaborate multilayered ice-cream cones. The children loved Doc Thompson, despite his sober self-importance and the way he pontificated. Once he sat Howie on his knee. "Don't drink alcohol," he said, over and over. "It will kill your brain cells, and you don't have any to waste."[52]

On Sundays, Doc Thompson sometimes came over and preached in a jelly-bean-colored suit right in Warren and Susie's living room. Otherwise, Howie and Susie Jr. went to the Buffetts', where Leila towed them off to church. Compared to the Thompsons, she and Howard seemed stiff and straitlaced. Howard remained such a Victorian throwback that when he called Doris and Warren with news about their sister Bertie, he could only choke out, "All hell's broken loose!" They finally managed to discover, from someone else, that she had lost her baby. Howard couldn't bring himself to say the word "miscarriage."

With their large new house, Warren and Susie began to play host for the families. At her first family Thanksgiving dinner, Susie prepared the turkey herself, thinking the easy way would be to cook it overnight at 100 degrees. After the turkey fell apart, she called on Mrs. Hegman, a cook inherited from Leila, to come and help. Someone other than Warren had to carve, however, since he was useless with a knife. And at family gatherings when his mother was present, as soon as he could get away with it, he disappeared upstairs to work.

Susie had covered Warren's new little office off the master bedroom with greenback-patterned wallpaper. Comfortably surrounded by money, he now set about buying cheap stocks as fast as his fingers could fly through the *Moody's Manuals*: businesses that sold basic items or commodities that could be easily valued, like Davenport Hosiery, Meadow River Coal & Land, Westpan Hydrocarbon, and Maracaibo Oil Exploration. For the partnership, for himself, for Susie, or for all of these whenever he had money, he put it to work as fast as he could bring it through the door.

Often he needed secrecy to execute his ideas and he used intelligent, willing people like Dan Monen to act as his proxies. Another of these proxies was Daniel Cowin, a value hunter who worked for the small brokerage firm Hettleman & Co. in New York. Warren had met Dan through their late friend from Columbia, Fred Kuhlken.[53] Hettleman made investments in little stocks with capitalizations of a few million, often the kind of obscure bargains that Warren liked.

"Fred had written and described Dan as a young star on Wall Street and said we were made for each other. I immediately decided that Fred was one hundred percent right on both counts. In the next few years, Dan and I were constantly together whenever I visited New York."[54]

Cowin was nine years older, with deep-set eyes and a penetrating gaze. When the two of them were together, it seemed, on the surface, like a grown man hobnobbing with a college boy, but they had much in common. Cowin had grown up poor during the Depression after his father lost the family's money, and as a teenager he had supported his family. He put the money he got for a thirteenth-birthday gift into stocks.[55] He gravitated toward a career in investing after his Navy service, working independently even at an investment house, keeping his ideas to himself. Unlike Buffett, however, he had a strong appreciation for cutting-edge art, was creative around the house—spraying pinecones silver for the Christmas dinner table—and collected photography and antiques. What attracted Buffett to him was that Cowin traded well and worked his own ideas.[56] Cowin had also endeared himself to Warren early on, when he was at Graham-Newman, by lending him $50,000 for a week so that Warren could buy some mutual-fund shares to achieve a thousand-dollar tax saving.[57] Over time, they collaborated, with Dan the balding senior partner: more experienced and with more money to invest, but sharing information and ideas.

Buffett and Cowin used to call each other weekly when the Pink Sheets that listed small stocks came out, and compare notes. "Did you get that one?" "Yes! I bought that, that's mine!"—both feeling like winners when they had picked the same ones. "It was like picking a horse," says Dan's wife, Joyce.[58] They thought about taking over the National Casket Company, code-naming it the Container Company. *"Dan was a digger,"* Buffett says, *"which I guess makes sense."*

Once, Buffett says, they had even tried to buy a Maryland "town" that the Federal Housing Authority was auctioning off for peanuts: it consisted of the post office, the town hall, and a large number of rental properties that were charging below-market rents. The town had been built during the Depression. Buffett recalls that the ad for the town made them salivate with Snidely Whiplash dreams of quickly raising the rents to a market rate. But even for "peanuts," the town was expensive and they couldn't get together enough cash.[59]

Warren could never get enough cash. He was always trying to raise money. The Graham connection was about to pay off again. Bernie Sarnat—a pioneer in plastic and reconstructive surgery—went to have a chat one day with Ben Graham, his wife's first cousin. Ben had moved across the street from the Sarnats when he and Estey retired to California. Sarnat says he asked Graham what he should do with his money now, "what little money he had in his partnership. Well," recalls Sarnat, "he said, 'Oh, buy AT&T,' and he handed me shares in three closed-end funds and some stock. And then he very casually mentioned, 'One of my former students is doing some investing. Warren Buffett.' And that was it. So casually that I didn't even pick it up."

Hardly anybody knew Warren Buffett. He might as well have been a patch of moss hidden under a rock in Omaha. Sarnat's wife, Rhoda, a social worker, took a walk every day with her cousin-in-law Estey. "One day not long after," she recalls, "Estey said to me, 'Listen, Rhoda, people are always approaching us to invest in their partnerships, because if they can tell people that Ben Graham invests in them, they have it made. We say no to everybody. But that Warren Buffett—he has potential. We're investing with him, and you'd better do it too.'

"My only question was," says Rhoda, "'Estey, I know you think he's bright, but I'm more interested in whether he's honest.' Estey said, 'Absolutely. Totally. I trust him a hundred percent.'" The Sarnats and Estey Graham put $10,000 and $15,000, respectively, into Mo-Buff. By then, the Monens' investment had grown to $100,000.

Some of the students in Warren's investing classes had also joined the partnerships, as had Wally Keenan, his former Dale Carnegie instructor. In fact, by 1959, he was getting somewhat of a name around town, in part through his teaching. No longer hidden, his qualities—good and bad—had begun to be recognized in Omaha. The side of him that had taken the counterposition in the teenage radio show *American School of the Air* came across in Omaha as brash, a know-it-all. *"I used to love to take the opposite side of any argument,"* he says, *"no matter what. I could turn in a second."* People thought it was nervy of him to ask for money to invest without telling them what he would be buying. *"There were people in Omaha who thought what I was doing was some sort of Ponzi scheme,"* he recalls. It had repercussions. When Warren had reapplied for full membership in the Omaha Country Club, he was blackballed. To be blackballed from the country club was a

serious matter; someone disliked him enough to show it in a tangible and embarrassing way. It was one thing to identify with outsiders, but he also wanted to belong. Besides, Warren liked to play golf, and the club had a good course. Through connections, he worked at it until he got off the blacklist.

But his talents shone through to many more people now, and brought him partners of increasing prominence. In February 1959, Casper Offutt and his son, Cap Jr., members of one of Omaha's most prominent families, approached him about a partnership of their own. When Warren explained that they would not know what he was buying, Cap Sr. said, "Well, I'm not going to put any money in if I don't know what it is, if you've got complete control and I don't have any voice in it."[60] But Cap Jr., together with his brother John and William Glenn, a businessman for whom Chuck Peterson managed real estate properties, invested anyway. They put $50,000 into Glenoff, the seventh partnership.

And all the while that Warren was investing during these early years of the partnerships, he never deviated from the principles of Ben Graham. Everything he bought was extraordinarily cheap, cigar butts all, soggy stogies containing one free puff. But that was before he met Charlie Munger.

23

The Omaha Club

Omaha • 1959

Like a steel bank vault door, the arched portals of the Omaha Club swung closed behind the bankers and insurance men and railroad executives of the city as George, the black doorman, welcomed them inside. Come from playing squash in the basement or from their offices downtown, the men loitered by the tiled fireplace in the front hall, chatting until the women entered through a separate side door in the building's Italian Renaissance facade to join them. The assembled parties ascended the curving mahogany staircase to the second floor, passing on the way the life-size painting of a Scotsman catching a trout in a stream. The Omaha Club was where the town came to dance, to raise money, to get married, and to celebrate anniversaries. But above all, it was where the town came to do business, for at its tables you were left to talk in peace.

One summer Friday in 1959, Buffett strode through the club's entrance to have lunch with two of his partners, Neal Davis and his brother-in-law Lee Seeman, who had arranged for him to meet Davis's best friend since childhood. It was Neal's father, Dr. Eddie Davis, who had said to Warren, "You remind me of Charlie Munger" when the Davises had joined the partnership. Now Munger was in town to settle his father's estate.[1]

Munger knew only a few facts about the crew-cut Buffett kid, six years his junior. But, consistent with his expectations of life in general, his expectations of this meeting were not high.[2] He had developed the habit of expecting little so as never to be disappointed. And rarely did Charles T. Munger meet anyone to whom he enjoyed listening as much as himself.

The Mungers had started in poverty, but by the latter part of the nineteenth century, T. C. Munger, Charlie's grandfather, a federal judge, had brought the family to prominence, welcome in every drawing room in Omaha—rather than only at the back door, delivering groceries, like the Buffetts. Judge Munger, an iron disciplinarian, had forced the whole family to read *Robinson Crusoe* to absorb the book's portrayal of the conquest of nature through discipline. He was known for giving longer jury instructions than any judge in the middle west.[3] He liked to lecture his relatives on the virtue of saving and the vices of gambling and saloons. Charlie's straitlaced aunt Ufie, who listened, had "kept hard at two separate careers until past eighty,

dominated her church, saved her money, and, duty-ridden, attended as a matter of course her beloved husband's autopsy."[4]

Judge Munger's son Al followed his father into the law, becoming a respectable but not rich attorney who counted among his clients the *Omaha World-Herald* and other important local institutions. Lighthearted, unlike his father, he was often seen enjoying a pipe, hunting, or catching a fish. His son later said of him that Al Munger "achieved exactly what he wished to achieve, no more or less…with less fuss than either his father or his son, each of whom spent considerable time foreseeing troubles that never happened."[5]

Al's wife, the beautiful, witty Florence "Toody" Russell, came from another clan raised on duty and moral rectitude, an enterprising family of New England intellectuals known for what Charlie referred to as "plenty of plain living and high thinking." When she announced she was marrying Al Munger, her elderly grandmother observed his thick spectacles and five-foot, five-and-a-half-inch frame and was flabbergasted. "Whoever would have thought she had the sense?" she supposedly exclaimed.

Al and Toody Munger had three children: Charles, Carol, and Mary. A photograph of Charlie as an infant shows him already wearing the petulant expression so typical of him later in life. At Dundee Elementary School, his most prominent features were a pair of huge elfin ears and, when he chose to reveal it, a broad smile. He was recognized as intelligent, "lively," and "too independent-minded to bow down to meet certain teachers' expectations," according to his sister Carol Estabrook.[6] "Smart, and a smarty," is how the Mungers' neighbor Dorothy Davis recalls Charlie from his earliest childhood.[7] Mrs. Davis tried to control Charlie's influence on her son, Neal, but nothing tamed Charlie's mouth, not even the sight of her with a switch in her hand, coming after the boys to lash their bare calves.

Warren had borne the indignities of childhood with only brief rebellion before learning to hide his misery and adopt artful strategies to cope. Too proud to submit, Charlie suffered through the woes of youth by employing his talent for wounding sarcasm. Matched as a dance partner every single Friday at Addie Fogg's dance class with Mary McArthur, the only girl shorter than he, Charlie made no secret of his irritation at the routine that emphasized his status as the second-shortest child in the class.[8] At Central High School, he gained the nickname "Brains" and a reputation for hyperactiveness—and for being aloof.[9]

From a family that treasured learning, he grew up intellectually ambitious and enrolled in the University of Michigan at seventeen, majoring in mathematics. He enlisted in the Army a year after Pearl Harbor, halfway through his sophomore year. While in the service he attended the University of New Mexico and California Institute of Technology for credits in meteorology, though he never actually graduated. After more coursework he worked in Nome, Alaska, as an Army meteorologist. Later, Munger would make a point of saying that he never saw active duty and would emphasize his luck in having been stationed out of harm's way. The main risk that he took was financial: He augmented his army pay by playing poker. He found he was good at it. It turned out to be his version of the racetrack. He said he learned to fold fast when odds were bad and bet heavily when they were good, lessons he would use to advantage later in life.

With the help of well-oiled family connections, he brazened his way into Harvard Law School after the war without ever having finished his undergraduate degree.[10] By then he was married to Nancy Huggins, an impulsive match entered into when he was twenty-one and she nineteen. He had sprouted into a medium-height, well-dressed young man whose close-cut dark hair and alert eyes gave him a polished look. But his most prominent feature—apart from his ears, now only slightly winged from his skull—was a hallmark skeptical expression. He wore it often while racing through Harvard—without learning anything, he says.[11] Then, he later told his friends, he looked at a map and asked himself, "What city is growing and full of opportunity, so that I could make a lot of money, but not so big and well developed that it would be hard to rise into the ranks of the city's prominent men?" He chose Los Angeles.[12] Pasadena—the gracious old Spanish-flavored Los Angeles suburb where he had attended Caltech—had impressed him. It was there that he had met his wife, the daughter of a locally prominent family. Nancy was "willful, indulged," says her daughter Molly, not exactly ideal traits given her new husband's temperament.[13] Within a few years their marriage was in trouble. Nonetheless, after Harvard they hightailed it back to her hometown, with their son,

Teddy, and settled in Pasadena, where Charlie became a successful lawyer.

By 1953, after three children and eight years of incompatibility, fighting, and misery, Munger found himself divorcing at a time when divorce was a disgrace. Despite their problems, he and Nancy worked out a civilized arrangement regarding their son and two daughters. Munger moved into a room at the University Club, bought a dented yellow Pontiac with a bad paint job "to discourage gold diggers," and became a devoted Saturday father.[14] Then, within a year of the separation, Teddy, now eight years old, was diagnosed with leukemia. Munger and his ex-wife scoured the medical community but quickly discovered the disease was incurable. They sat in the leukemia ward with the other parents and grandparents in different stages of watching their children waste away.[15]

Teddy was in and out of the hospital often. Charlie would visit, hold him in his arms, then walk the streets of Pasadena, crying for his son. He found the combination of his failed marriage and his son's terminal illness almost unbearable. The loneliness of living as a divorced single father in the 1950s also chafed at him. He felt a failure without an intact family, and wanted to live surrounded by children.

When things went wrong, Munger would set out toward new goals rather than let himself dwell on the negative.[16] That could come across as pragmatic, or even callous, but he viewed it as keeping the horizon in sight. "You should never, when facing some unbelievable tragedy, let one tragedy increase into two or three through your failure of will," he would later say.[17]

So even as he cared for his dying son, Munger decided to marry again. His method of analyzing the odds of a successful match made him pessimistic, however.

"Charlie was despairing over whether he would ever meet anyone else. 'How can I find somebody? Out of twenty million people in California, half are women. Of these ten million, only two million are of an appropriate age. From that group, a million and a half would be married, leaving five hundred thousand. Three hundred thousand of them are too dumb, fifty thousand are too smart, and of the remaining hundred fifty thousand, the number I would want to marry would fit on a basketball court. I've got to find one of those. And then I've got to be on her basketball court.'"

Munger's mental habit of setting low expectations was well established. He equated this with the route to happiness, since he felt that high expectations led to fault-finding. Low expectations made it harder to be disappointed. Paradoxically, however, they could also confound success.

Out of desperation, Munger started reviewing divorce and death notices to find newly single women. That got his friends' attention. Thinking this pathetic, they began to intervene. One of his law partners came up with another Nancy, a divorcée with two young boys. Nancy Barry Borthwick, a petite brunette, played tennis avidly, skied, and golfed. She was also a Phi Beta Kappa economics graduate of Stanford.

On their first date he warned her, "I'm didactic." The thought of a man infected by the urge to preach failed to put Nancy off, which augured well for their relationship. They started taking their children on outings. At first Teddy went along with them, but he soon became too ill. Later, thirty-one-year-old Charlie spent much of his son's final weeks sitting by Teddy's bedside. By the time Teddy died in 1955 at age nine, Charlie had lost between ten and fifteen pounds. "I can't imagine any experience in life worse than losing a child inch by inch," he said later.[18]

Charlie married Nancy Borthwick in January 1956. She quickly became his ballast. He desperately needed someone to arrange his life. Nancy had moxie, pricking Charlie's balloon without hesitation when it inflated with too much hot air. She was an excellent manager, observant, calm, reasonable, and practical. Nancy curbed his caprices when Charlie took off on occasional bolts of impulsiveness. In time, they added three sons and a daughter to his two girls and her two boys. She set about raising eight children while keeping house and taking care of Charlie.[19] He became known to his children as a "book with legs," constantly studying science and the achievements of great men. Meanwhile, he continued seeking his fortune at the law firm of Musick, Peeler & Garrett, but realized that the law would not make him rich. He began to develop

some profitable sidelines. *"Charlie, as a very young lawyer, was probably getting $20 an hour. He thought to himself, 'Who's my most valuable client?' And he decided it was himself. So he decided to sell himself an hour each day. He did it early in the morning, working on these construction projects and real estate deals. Everybody should do this, be the client, and then work for other people, too, and sell yourself an hour a day."*

"I had a considerable passion to get rich," Munger said. "Not because I wanted Ferraris—I wanted the independence. I desperately wanted it. I thought it was undignified to have to send invoices to other people. I don't know where I got that notion from, but I had it."[20] He saw himself as the gentleman squire. Money wasn't a competition to him. He wanted to join the right clubs but he didn't care whether the other members were richer than him. Beneath the surface arrogance, his deep respect for authentic achievement gave him a genuine humility that would be crucial in forming a relationship with the man he was about to meet.

That man who sat across from him in a private room of the Omaha Club and started to talk was dressed like a youngish salesman come to sell insurance to the gentleman squire. The worldly Munger by now was well ensconced in Los Angeles business and society, and looked the part. As soon as the Davises and Seemans had made the introductions, however, the two fell into a tête-à-tête. Charlie allowed that he had actually "slaved" a short stint at the Buffett grocery store, where "you were just goddamn busy from the first hour of morning until night."[21] Ernest had let the sons of favored customers like Toody Munger loaf, however, at least compared to the rest of the beleaguered clerks.[22] After the pleasantries, the conversation picked up speed and the rest of the party listened, rapt, as Warren began to talk about investing and Ben Graham. Charlie grasped the concepts right away. *"He had spent plenty of time thinking about investing and business by then,"* Buffett says.

He told Charlie the story of National American insurance. Munger had gone to Central High with Howard and Hayden Ahmanson. He was amazed that someone like Buffett, who was not from California, could know so much about the Ahmansons and their savings and loan. Before long, the two men were talking simultaneously, yet they seemed to understand each other perfectly.[23] After a while, Charlie asked, "Warren, what do you do specifically?"

Well, I've got these partnerships, Buffett explained, and I do this, and this, and that. In 1957, he said, his partnerships had earned over ten percent in a year when the market had declined over eight percent. The next year the partnerships' investments had risen more than forty percent in value.[24] Buffett's fees so far from managing the partnerships, reinvested, came to $83,085. These fees had mushroomed his initial contribution of only $700—$100 contributed to each of the seven partnerships[25]—into a stake worth 9.5 percent of the combined value of all the partnerships. Moreover, his performance was well on its way to beating the Dow again in 1959, which would make him richer still and raise his stake again. Meanwhile, his investors were thrilled; new partners kept joining. Charlie listened. Eventually he asked, "Do you think that *I* could do something like that out in California?" Warren paused for a moment and looked at him. This was an unconventional question coming from a successful Los Angeles lawyer. "Yeah," he said, "I'm quite sure you could do it."[26] As the luncheon wound its way to an end, the Seemans and the Davises decided it was time to go. When they got on the elevator, their last sight was of Buffett and Munger, still sitting at the table, engrossed.[27]

A few nights later, the two men took their wives to Johnny's Café, a red-velvet steak joint, where Munger became so self-intoxicated at one of his own jokes that he slipped out of the booth and began rolling on the floor with laughter. When the Mungers returned to Los Angeles, the conversation continued in installments, the two men talking on the phone for an hour or two with increasing frequency. Buffett, once obsessed with Ping-Pong, had found something *far* more interesting.

"Why are you paying so much attention to him?" Nancy asked her husband.

"You don't understand," said Charlie. "That is no ordinary human being."[28]

24

The Locomotive

New York City and Omaha • 1958–1962

Warren and Susie seemed like ordinary people. They kept a low profile. Their house was large but not ostentatious. It had a log cabin in the backyard for the kids. The back door was never locked; neighborhood children wandered in and out. Inside the house, the Buffetts clickety-clacked on their different tracks at gathering speed. As Susie added stop after stop to her local schedule, Warren headed out on a nonstop trip to Dollar Mountain.

Until 1958, his straightforward route was to buy a stock and wait for the cigar butt to light. Then he usually sold the stock, sometimes with regret, to buy another he wanted more, his ambitions limited by his partnerships' capital.

Now, however, he was managing more than $1 million in seven partnerships plus Buffett & Buffett and his personal money,[1] which let him operate on a different scale. His network of business pals like Stanback, Knapp, Brandt, Cowin, Schloss, and Ruane had grown by the addition of Munger; the two of them ran up outrageous—by their standards—phone bills every month. Munger had introduced him to his friend Roy Tolles, a lanky former Marine fighter pilot who wore a constant placid smile and kept the thoughts inside his quick mind to himself—except for the occasional barbed zingers he had a way of throwing out, which made people "want to keep a few Band-Aids around," as one friend put it. Buffett, like Munger, could parry and riposte with the best, and added Tolles to his collection. This knack for signing up volunteers to his cause had created a large, if loosely organized, support structure. Warren more or less automatically Tom-Sawyered these supporters, hived off into several cells, into helping his interests, which had grown so fast that he could no longer carry out every detail of them by himself.

The days when Warren simply sat in his study at home, picking stocks out of *Security Analysis* or the *Moody's Manuals*, were gone. Increasingly, he began to work on large-scale, lucrative projects that required time and planning to execute—even more so than buying up the shares of National American insurance. These projects would sometimes evolve into complicated, even dramatic episodes that would absorb his attention for months, or occasionally years, at a stretch. Sometimes several of these investing projects operated simultaneously. Already preoccupied to the point that he was barely present to his family much of the time, this expansion of scale would exacerbate that tendency, while binding him more tightly to his friends.

The first of these complicated episodes involved a company called Sanborn Map. It published minutely detailed maps of power lines, water mains, driveways, building engineering, roof composition, and emergency stairwells for all the cities of the United States, maps that were mainly bought by insurance companies.[2] The business was no winner, its customer base slowly shrinking as insurers merged. But its stock was cheap at $45 per share, since Sanborn's investment portfolio alone was worth $65 per share. To get hold of that investment portfolio, however, Warren needed not just money from his partnerships but also help from other people.

Beginning in November 1958, he put more than one-third of the partnerships' assets into Sanborn. He bought the stock for himself and for Susie. He had his aunt Alice, his father, his mother, his sisters, all buy it. He passed the Sanborn idea along to Cowin, to Stanback, to Knapp, and to Schloss. Some people got in on it as a favor from him. He took an override—a percentage of the profits—from others as a way of leveraging his capital. To get more shares under his control, he added Don Danly, his pinball-and-pilferage pal from high school; his father's best friend, Vic Spittler; Dottie's husband, Homer Rogers; and Howard Browne, the head of Tweedy, Browne and Reilly, the brokerage firm where Tom Knapp worked. He also put Catherine

Elberfeld and Anne Gottschaldt, the aunt and mother of his friend Fred Kuhlken, into the stock. Since he had still not brought Gottschaldt and Elberfeld into a partnership, this strongly suggested that he thought Sanborn was a sure thing. Eventually he controlled enough of Sanborn's shares to be elected to the board.

In March 1959, Warren took one of his regular trips to New York, staying out on Long Island at Anne Gottschaldt's little white colonial house. By now she and her sister had adopted him as a sort of surrogate son, as if to replace the long-dead Fred. Warren kept spare sets of underwear and pajamas at her house, and Gottschaldt made him hamburgers for breakfast. On these journeys, he always set out with a list of between ten and thirty things he wanted to accomplish. He would go to the Standard & Poor's library to look up some information. He would visit some companies, visit some brokers, and always spend time with Brandt, Cowin, Schloss, Knapp, and Ruane, his New York City network.

This particular trip was lengthy, about ten days. He had sit-downs with prospects for the partnership and another important appointment: his first meeting as a board member at Sanborn Map.

Sanborn's board consisted almost entirely of insurance-company representatives—its biggest customers—so it operated more like a club than a business, except that the board meeting wasn't followed by a round of golf. None of the board members owned more than token amounts of stock.[3] At the meeting, Warren proposed that the company distribute the investments to the shareholders. But since the Depression and World War II, American businesses treated money as a scarce commodity to be hoarded and husbanded. This way of thinking had become automatic, its underlying premise unexamined, even though the economic justification for it had long disappeared. The board responded to the idea of separating the investment portfolio from the map business as preposterous. Then, toward the end of the meeting, the board broke out the humidor and passed around cigars. While they smoked, Warren sat fuming. "That's my money paying for those cigars," he thought. On the way back to the airport, he took pictures of his children out of his wallet and looked at them to bring his blood pressure down.

Frustrated, Warren decided that he would take the company away from Sanborn's undeserving board on behalf of the other shareholders. They deserved it more. Therefore, Buffett's group—Fred Stanback, Walter Schloss, Alice Buffett, Dan Cowin, Henry Brandt, Catherine Elberfeld, Anne Gottschaldt, and some of the others—kept buying. Warren also used new money coming into the partnerships. He had Howard put a number of his brokerage clients into Sanborn. Warren was probably doing his father a financial favor, even as he tightened his grip on the company.

Before long, people friendly to Warren, including the famous money manager Phil Carret, who had bought Greif Bros. and Cleveland's Worst Mill after hearing of these stocks through Warren, had corralled about 24,000 shares. Once they had effective control, Warren decided it was time to act. The stock market was high, and he wanted Sanborn to unload its investments at an opportune time. Booz Allen Hamilton, the company's strategic consultants, had already submitted a plan to do this,[4] but the sticking point was taxes. If Sanborn sold the investments, it would have to pay a tax bill of about $2 million. Warren offered a solution similar to the Rockwood & Co. tax trick of swapping the investments, tax-free, for stock.

Another board meeting took place at which nothing happened except for more of the investors' money going up in cigar smoke. For a second time Buffett rode back to the airport looking at pictures of his kids to calm himself down. Three days later, he threatened to call a special meeting and take control of the company unless the directors took action by October 31.[5] His patience had run out.

Now the board had no choice. It agreed to split the two businesses. Even so, the issue remained of how to deal with the tax. One of the insurance men said, "Let's just swallow the tax."

"And I said, 'Wait a minute. Let's—"Let's" is a contraction. It means "let us." Who is this <u>us</u>? If everyone around the table wants to do it per capita, that's fine, but if you want to do it in a ratio of shares owned, and you get ten shares' worth of tax and I get twenty-four thousand shares' worth, <u>forget it</u>.' He was talking about swallowing two million dollars' worth of tax just because he didn't want to go to the trouble of doing the share buyback.[6] *I remember the cigars getting passed around. I was paying for thirty percent of every*

one of those cigars. I was the only guy not smoking cigars. They should have paid for a third of my bubble gum."

In the end, however, the board capitulated. Thus, through force of energy, organization, and will, early in 1960 Warren won the fight. Sanborn made a Rockwood-type offer to shareholders, exchanging a portion of the investment portfolio for stock.[7]

The Sanborn deal set a new high-water mark: Buffett could use his brains and his partnerships' money to alter the course of even a stubborn and unwilling company.

* * *

During this episode, as Buffett traveled back and forth to New York and worked on the Sanborn project, figuring out where to get the stock he needed for control, how to make the board fall in line, and how not to swallow the tax, all the while looking for other investment ideas, his mind whirled with the thousands of numbers that clicked and spun inside his head. At home, he would disappear upstairs to do his reading and thinking.

Susie understood his work as a sort of holy mission. Still, she tried to get him out of his study and into the family's world: scheduled outings, vacations, dinners in restaurants. She had a saying: "Anyone can be a father, but you have to be a daddy too."[8] Yet she was talking to someone who'd never had the kind of daddy to which she was referring. "Let's go to Bronco's," she would say, and stuff a gang of neighborhood kids into the car for a burger run. At the table, Warren would laugh when something funny happened and would appear engaged, but he rarely spoke. His mind could have been anywhere.[9] On vacation once in California, he took a bunch of kids to Disneyland one night and sat on a bench reading while the kids ran wild and had a grand time.[10]

Peter was now almost two, Howie five, and Little Sooz—who occupied her own pink checked-gingham kingdom with a canopy bed up a separate flight of stairs—six and a half. Howie tested his parents with destruction to see how much it took to get a reaction from them. He picked on Peter, who was slow to start talking, prodding him as if he were a science experiment to see how he would respond.[11] Little Susie policed them both to keep things under control. She started figuring out ways to get back at Howie, once telling him to stick holes with a fork around the bottom of a milk carton. While Howie was enjoying the sight of milk spurting all over the kitchen table, she ran upstairs, crying, "*Mommmmmm,* Howie's being bad again!"[12] Warren simply turned to Susie to cope with their son's explosive energy. And Howie remembers that his mother almost "never got angry, and was always supportive."[13]

Susie juggled all this while playing the part of the standard-issue upper-middle-class wife circa 1960: appearing every day in her trademark look, a tailored dress or pantsuit, often in sunshine yellow, and a lacquered bouffant wig; taking perfect care of her husband and family; becoming a community leader; and gracefully entertaining her husband's business associates as if this required no more effort than tossing a Swanson TV Dinner into the oven. Warren let her hire help, and soon a series of au pairs took up residence in an airy, light-filled room with its own bath on the second floor. Letha Clark, the new housekeeper, assumed some of the burden. Susie often started her day around noon by hosting a charity luncheon. After school, she shuttled Little Susie to Blue Birds. She would always describe herself as a simple person, but she steadily added layers of complexity to her life. She was setting up a group called the Volunteer Bureau[14] to do office work and teach swimming at the University of Omaha. "You, too, can be a Paul Revere" was its motto, invoking an image of one individual saving an entire nation through his (or her) daring and self-sacrificing deeds.

Susie—like Paul Revere—was impatient to mount and ride;[15] she dashed back and forth between family obligations and the growing number of people who wanted her attention. Many of these were disadvantaged

or traumatized in some way.

Her closest friend, Bella Eisenberg, was an Auschwitz survivor who had made her way to America and Omaha after the camp was liberated. She thought of Susie as someone you could call at four o'clock in the morning when the demons got hold of you.[16] Another, Eunice Denenberg, was only a child when she found her father after he hanged himself. Rarest of all among well-off white families, the Buffetts had black friends, including the most intimidating pitcher in baseball, Bob Gibson, and his wife, Charlene. Being a star athlete meant little in 1960 if you were black. "Those were the days when white people wouldn't be seen with black people in Omaha," says Buffett's childhood friend Byron Swanson.[17]

Susie reached out to everyone; in fact, the more troubled the person, the more willingly she helped. She took a deep interest in the personal lives of people she barely knew. Warren recalls an incident when he left her on line at a concession stand during a football game. By the time he returned from the men's room a few minutes later, the woman standing on line next to Susie was saying to her, "Now, I've never told anybody this before in my life…" as Susie listened, appearing fascinated. Almost everyone she met glowed under this kind of attention and felt touched by the encounter. But even with her closest friends, Susie nearly always took care not to share her own problems.

She played the same role of ministering angel with her own family, above all with her sister. Dottie, who was musical like Susie, had founded the Opera Guild, and remained the beauty of the family, but seemed vacant and, as one person put it, "valiantly unhappy." She maintained a pleasant surface but told Susie that she never cried because if she ever started, she would never stop. Homer, her husband, appeared frustrated that he could not penetrate his wife's cocoon. Still, the Rogerses kept up their vigorous social schedule, and at night, amid the drinks and merriment, their two young sons roamed underfoot. At times, Homer punished them harshly or Dottie teased Billy cruelly—so Susie mothered her nephews along with her own children.

She also helped the senior Buffetts, who were saddled with both Howard's health issues and his ideology. Just as the rest of America had caught up to his level of paranoia about Communism, Howard leapfrogged ahead. By the late Eisenhower years, Americans felt their country, grown soft and fat in its prosperity, was losing the arms race and were haunted by the frightening image of Premier Nikita Khrushchev banging his shoe on a table at the United Nations and thundering "We will bury you." All 180 million Americans ducked-and-covered in air-raid drills, the youngest crouched under their elementary-school desks. More than one billion people were now living under Communism in almost twenty countries around the globe. The rapid advance of Communism over such a broad swath of the world stunned much of the nation. Howard joined a newly formed group, the John Birch Society, which combined paranoia about Communism with what he described as concern for the "moral and spiritual problem of America, which would be with us even if Communism were stopped tomorrow."[18] He covered his office walls with maps showing the menacing red advance of Communism. He and Doris helped bring the Christian Anti-Communist Crusade to Omaha[19] and threw themselves behind a movement of ideological conservatives that was coalescing around Arizona Senator Barry Goldwater. Howard was respected as a philosophical purist among the libertarian-leaning wing of the Republican Party, but anyone associated with the Birchers attracted both alarm and ridicule. After he went to the local press to defend his Birch membership, people increasingly wrote him off as an eccentric. That Omaha snickered at his revered father was painful to Warren.

But his anxiety on Howard's behalf had even more to do with eighteen months of mysterious symptoms that doctors could not seem to diagnose despite a trip to the Mayo Clinic in Rochester, Minnesota.[20] Finally, in May of 1958, Howard had been told he had colon cancer that required immediate surgery.[21] Warren had been upset by the diagnosis, but angered by what he considered its inexcusable tardiness. Since then, Susie had shielded him from the details of his father's illness.[22] She gave him head rubs and kept up the household schedule. She also devoted herself to propping up Leila during Howard's surgery and long recuperation. She did all of this cheerfully; not only that, she seemed to thrive as the calm, soothing presence on whom everyone could depend in this crisis. She helped her older children understand the illness and saw that all of them, including little Peter, visited their grandfather regularly. Howie watched college football in the afternoons with Howard, who would sit in his recliner and switch sides repeatedly during games, cheering for

whichever team was losing. When Howie asked him why, he said, "They're the underdogs now." [23]

Throughout his father's ordeal, Warren used business as a distraction. He kept his head buried in *American Banker* or the *Oil & Gas Journal* except for brief interludes when he wandered into the kitchen for some popcorn or a Pepsi from the wooden crates that only he was allowed to touch.

Yet somehow, despite Howard's distress and illness, the quiet, withdrawn man who was the Warren Buffett his family saw became a presence in public no matter what was going on at home. He displayed an authority, an almost electric charge of energy, that radiated to an audience. "He just used to ooze that stuff wherever he went," says Chuck Peterson.[24] The man who had so impressed Charlie Munger talked constantly and convincingly about investing and the partnerships; he raised money as fast as he could talk—but not as fast as he could invest.

Munger listened to Buffett's investing and money-raising exploits on their almost-daily phone calls, wondering at the natural salesmanship that enabled Buffett to promote himself so well. His trips to New York became more frequent now that Henry Brandt prospected for him. Cash poured into the partnerships' coffers, 1960 a watershed year. Warren's aunt Katie and uncle Fred put nearly $8,000 into Buffett Associates early in the year. Another $51,000 came into Underwood, partly through Chuck Peterson's connections. Then, *"Chuck said to me, 'I'd like you and Susie to come to dinner and meet the Angles.' Well, I didn't know them. He said they're both doctors, and real smart people."*

Carol and Bill Angle lived across the street from Peterson. Bill Angle, a cardiologist, was a whimsical man who would stay up all night in the winter, spraying water around his front yard and making impeccably glazed snowmen, frosty replicas of his chubby self, standing next to frozen "ponds." His wife specialized in pediatric research.

"We picked them up and there were six of us in the car. We headed over to the Omaha Country Club. Carol Angle was a very good-looking woman, and smart. All during dinner, she couldn't take her eyes off me. I mean, she was just fascinated. I was going crazy, talking about everything in the world and trying desperately to impress her. And she was just taking in every word."

After the presentation, which Peterson recalls as typically persuasive, *"we left the country club and drove back. All the way in the car she still couldn't take her eyes off me. We dropped the Angles off. And I said to Chuck, 'I made quite an impression tonight.' He said, 'No, dummy. She's deaf. She's reading your lips.' Since I couldn't stop talking, she couldn't stop looking at me."*[25]

But he certainly had made an impression, for afterward the Angles hosted a dinner at the Hilltop House for a dozen doctors they knew, at which Bill Angle suggested that they form a partnership and each chip in $10,000. One doctor asked, "What happens if we lose all our money?" *"Bill Angle gave him this disgusted look. And he said, 'Well, then we form another partnership.'"*

The Emdee partnership, Buffett's eighth, was launched on August 15, 1960, with $110,000. The twelfth doctor, the one who worried about losing all his money, did not join.

There were other skeptics. Not everyone in Omaha liked what they heard about Warren Buffett. His secretiveness put people off. Some thought the young hotshot wouldn't amount to anything, and believed the authority he radiated was unearned arrogance. Some resisted the idea of a nobody succeeding without kowtowing his way to the top. One member of a prominent Omaha family was lunching with half a dozen people at the Blackstone Hotel when Buffett's name came up. "He'll be broke in a year," the man said. "Just give him a year and he's gone."[26] A partner at Kirkpatrick Pettis, which Howard's firm had merged with in 1957, said time after time, "The jury's still out on him."[27]

That fall, the already frothy stock market took off on a tear. The economy had been slogging along in a mild recession, and the country's mood was dark because the Soviets seemed to be winning the arms and space races. But when John F. Kennedy won the presidency in a squeaker of an election, the pending change in

administrations to a man from a vigorous young generation uplifted the nation. In one of his early speeches, Kennedy set out a goal: sending a man to the moon and back. The market shot up, and once again comparisons were made to 1929. Warren had never ridden out a speculative market, yet he remained unruffled. It was as if he had been waiting for this moment. Instead of pulling back, as Graham might have done, he did something remarkable. He went into overdrive raising money for the partnerships.

He put Bertie and her husband, his uncle George from Albuquerque, and his cousin Bill into Buffett Associates, the original partnership. Wayne Eves, his friend John Cleary's partner, got on board too. And he finally put Fred Kulhken's mother and aunt, Anne Gottschaldt and Catherine Elberfeld, into the partnership. Their presence suggested that he felt the timing was not just highly propitious but also safe.

Three more people went into Underwood. Waiting for a cab in the rain after attending one of Ben Graham's lectures in New York, Warren met Frank Matthews Jr., son of the former Secretary of the Navy before whom Vanita Mae Brown had once claimed to be married to Warren—Matthews became a partner.[28] Warren set up Ann Investments, his ninth partnership, for a member of another prominent Omaha family, Elizabeth Storz. He put Mattie Topp, who owned the fanciest dress shop in town, along with her two daughters and sons-in-law and $250,000, into the tenth, Buffett-TD.

Legally, he could take on only a hundred partners without having to register with the SEC as an investment adviser. As the partnerships burgeoned, he started encouraging people to team up informally and come in as a single partner. Eventually he would put people into pools, combining their money himself.[29] He later described the tactic as questionable—but it worked. His compulsion to get more money, to make more money, drove him on. Warren was on fire, shuttling back and forth to New York at a frantic pace. He began to suffer from stress-related back pain. It often worsened when he was on an airplane, and he tried all sorts of things to alleviate it—everything but staying home.

By now his name was passed along like a secret. *Invest with Warren Buffett to get rich.* But the routine had changed. By 1960 it took at least $8,000 to get in the door. And he no longer asked people to invest with him. They had to bring it up. *It had to be their idea.* People not only would have no inkling what he was doing, they had to put *themselves* in this position.[*20] It converted them into enthusiasts for Buffett, and reduced the odds of their complaining about anything he did. Instead of asking a favor, he was granting one; people felt indebted to him for taking their money. Making people ask put him psychologically in charge. He would come to use this technique often, in many contexts, for the rest of his life. Along with getting him what he wanted, it seemed to soothe his persisting fears of being responsible for other people's fates.

Though his insecurity was rampant as ever, his success and Susie's care and tutoring had given him a bit of polish and flair. He was starting to appear powerful, not vulnerable. Plenty of people were happy to ask him to invest for them. Buffett formed the eleventh and last of his partnerships, Buffett-Holland, on May 16, 1961, for Dick and Mary Holland, friends he had met through his lawyer and partner Dan Monen. When Dick Holland decided to invest in the partnership, members of his family pressured him not to do it. Buffett's abilities were apparent to him, Holland says, even though in Omaha people were still "laughing up their sleeves" at Warren's ambitions.[30] Yet in 1959 the partnerships had outperformed the market by six percent. In 1960 they leaped to nearly $1.9 million in assets by beating the market by twenty-nine percent. Even more impressive than any single year's profits was the compounding power of repeated growth. A thousand dollars invested in Buffett Fund, the second partnership, was now worth $2,407 four years later. Invested in the Dow Jones Industrial Average, it would have been worth just $1,426.[31] More important, he accomplished this higher return while taking less risk than the market as a whole.

And Buffett's fees, reinvested, had by the end of 1960 earned him $243,494. More than thirteen percent of the partnerships' assets now belonged to him alone. Yet even as his share of the partnerships increased, he had made the partners so much money that they were no longer simply happy; many regarded him with awe.

Bill Angle, his partner in Emdee, was foremost among them. He Tom-Sawyered himself into becoming Warren's "partner" in building a gigantic model train set with an HO gauge track on the third floor of the Buffetts' house, which had been a ballroom in a former life and was now the family attic. Warreny, the boy

who had lingered at the Brandeis store every Christmas, longing for the huge, magical model train that he couldn't have, awoke inside the grown man. He "supervised" as Angle did all the work to create Warren's childhood fantasy.

Warren also tried to Tom-Sawyer Chuck Peterson into investing in it. "Warren, you must be out of your mind," Peterson said. "Why would I want to go fifty-fifty with you on a train that *you* possess?" But Warren didn't get this, so carried away was he by enthusiasm for the train and its accoutrements. "You can come over and use it," he said. [32]

The train filled much of the former ballroom's space. It stood on pilings, with passageways underneath so that the diorama could be viewed from inside. Three locomotives carrying long chains of cars raced along an enormous spiraling track. They rocketed past villages and dove through forests, disappeared into tunnels, climbed mountains and dipped through valleys, stopping and starting at signals, and derailing just often enough to add a thrill when Buffett switched on the engines.[33]

Shining with the reflected glow of a delayed childhood, burnished with the patina of Omaha's railroading history, the train was Warren's totem. His children were forbidden to go near it. By now, his relentless obsession with money and obliviousness to his family were a running joke among his friends. "Warren, those are your children—you recognize them, don't you?" people said.[34] When he was not traveling, he could be found wandering through the house, nose buried in an annual report. The family swirled around him and his holy pursuit—the disengaged, silent presence, feet up in his stringy bathrobe, eyes fixed on the *Wall Street Journal* at the breakfast table.

The bookkeeping and banking and safety-depositing and post-officing required for his complicated empire, which had grown to almost four million dollars, eleven partnerships, and well over a hundred investors, now became almost overwhelming. Amazingly, Warren was still handling all the money and doing all the clerical work himself: filing the tax returns, typing the letters, depositing the dividend and capital checks, stopping for a meal at the Spare Time Café along the way, stuffing the stock certificates in the safety deposit box.

On January 1, 1962, Buffett dissolved all of the partnerships into a single entity, Buffett Partnership, Ltd.—or BPL. The partnerships had produced a stellar forty-six percent return in 1961, compared with the Dow's twenty-two percent. After the partners invested more money that January 1, the new Buffett Partnership, Ltd., started the year with net assets of $7.2 million. In just six years, his partnerships had grown bigger than Graham-Newman. Yet when Peat, Marwick, Mitchell audited it, the auditor, Verne McKenzie, pored over the BPL files not in a conference room on Wall Street but in the alcove off Warren's bedroom upstairs, where the two of them worked side by side.

Even Buffett realized by now that his growing collection of files, phone bills, and stock trades had reached the limits of what he could handle working in a home office. He disliked taking on overhead, but he could afford it.

Including his outside investments—which totaled well over half a million dollars by now—Warren had become a millionaire at age thirty.[35] So he rented office space in Kiewit Plaza, a new white granite building a straight shot down Farnam Street about twenty blocks from his house and less than two miles from downtown. He and his father now shared space, a longtime goal of Warren's, as well as a secretary. But Howard was clearly very ill. He soldiered gamely into the office with a stiff gait, making the effort. Warren's face would shadow when he learned some new piece of ominous news about his father's health, but mostly he tried to avoid knowing the details.

The new secretary tried to tell Warren what to do. *"She thought she was a little motherly,"* he says, *"in the sense of trying to steer me."*

Nobody steered Warren Buffett. He fired her on the spot.

But he did need help. Just before moving into Kiewit Plaza he had also hired Bill Scott, a trust officer from

the U.S. National Bank who had read an article in the *Commercial & Financial Chronicle* that Warren had written about an obscure insurance company. Scott signed up for Buffett's investing course, and then, he says, "I set out to suck up to him until I got a job." Buffett started going over to the Scotts' house on Sunday mornings after he dropped his kids off at church to talk about stocks, and eventually offered him a job.[36]

Scott began to help Buffett as he herded money into the partnership as fast as the two of them could open the mail. Buffett had his mother join for the first time, along with Scott, Don Danly, and Marge Loring, the widow of Warren's bridge partner Russ Loring, and even Fred Stanback, who had a family business and heretofore had worked with Warren only on specific ideas.[37] And for the first time, Warren put his own money—all of it, almost $450,000—into the partnership.[38] With that, his and Susie's share of the partnership rose to more than a million dollars after his six years of work; together they owned fourteen percent of BPL.

The timing was stupendous. In mid-March 1962, the market finally broke. It continued its slide until the end of June. Stocks were suddenly cheaper than they had been in many years. Buffett was now sitting on a single partnership with a huge pile of cash to invest. Its portfolio was relatively unscathed in the downturn —"Compared to more conventional (often termed *conservative,* which is not synonymous) methods of common stock investing, it would appear that our method involved considerably less risk," he wrote in a letter to his partners.[39] He went racing through the stock tables. He often paraphrased Graham, saying: "Be fearful when others are greedy, and greedy when others are fearful." This was the time to be greedy.[40]

25

The Windmill War

Omaha and Beatrice, Nebraska • 1960–1963

In the late 1950s and the early 1960s, while Buffett wrestled with Sanborn, consolidated the partnerships, and moved into the office with his father, he embarked on another project, again some distance from Omaha. The second major orchestration of his supporting group, this was the first in which he actually took control of a company. And it would consume far more of his time and energy than had Sanborn Map.

Dempster Mill Manufacturing, a family-run company in the worst sense of the word, made windmills and water irrigation systems in Beatrice,[*21] Nebraska. This episode of Buffett's career had started like putting a quarter in yet another slot machine to get a dollar back—or so it seemed. The stock sold for $18 a share and the company had a steadily growing book value of $72 a share. ("Book value" is the stated value of a company's assets less what it owes—like a house less the mortgage, or cash in the bank less a credit card balance.) In the case of Dempster, the assets were windmills, irrigation equipment, and its own manufacturing plant.

In 1958, Warren had driven out to Beatrice, a windswept prairie town that depended on Dempster as its sole important employer. He was armed with a list of nineteen questions, such as: "How many dealers does the company have?" and "During the Depression, how bad did the bad debt experience ever get?"[1] After the visit he decided that the company was "well-heeled financially but not making dough."[2] Its president, Clyde Dempster, was running it into the ground.[3]

Since Dempster was just another cigar butt, Warren applied his cigar-butt technique, which was to keep buying a stock as long as it continued to sell below book value. If the price rose for any reason, he could sell out at a profit. If it didn't, and he ended up buying until he owned so much stock that he controlled the company, he could sell off—that is, liquidate—its assets at a profit.[4]

As with Sanborn, Buffett couldn't afford as much of Dempster as he wanted. He called Walter Schloss and Tom Knapp, and said, "I want you to go thirds with me."[5] Over several years, the trio got hold of eleven percent of the stock—second only to the Dempster family—and Warren joined the board. In early 1960, the board hired Lee Dimon, formerly purchasing manager of Minneapolis Molding Co., as Dempster's general manager, over Buffett's reservations.[6] Buffett maneuvered Clyde Dempster into a figurehead role and continued buying stock.[7] He wanted every share that he could lay his hands on. He rang up Schloss in New York and said, "Walter, I want to buy your stock."

"Gee, I don't want to sell it to you," said Schloss. "You know, it's a nice little company."

"Look, I'm doing all the work on this idea. I'd like your stock," said Buffett.

"Warren, you're a friend of mine. If you want it—take it," said Schloss.[8]

In the adult version of absconding with Doris's bicycle, Buffett took it. He had a weakness: If he felt he needed something, he *needed* it, and that need must be satisfied. He did this, however, without any apparent malice or arrogance. If anything, it was the opposite; he was just so terribly needy. People like Schloss generally gave in to him because they liked him, and besides, whatever it was he wanted, he obviously seemed to feel he needed it more than they did.

As he gained more stock, Buffett also bought out the Dempster family. With that transaction, he achieved control, eased out Clyde Dempster, and made an offer to all other shareholders on the same terms.[9]

Here Buffett was treading on tricky ground. As chairman, he felt he could not rightly urge other investors to sell when he was buying. He even bent over backward to warn them that he thought Dempster stock would do well. Nevertheless, money and human nature could be counted on to do their job. People convinced themselves that they would rather have the cash than a thinly traded stock of dubious value. Soon, therefore, Dempster made up twenty-one percent of the partnership's assets.

In July 1961, Warren wrote his partners that the partnership had invested in a nameless company that might prove to be *"a deterrent to short-range performance, but it gives strong promise of superior results over a several-year period."*[10] He named Dempster, which the partnership now controlled, and wrote a little sermon about it in his January 1962 letter, explaining Ben Graham's philosophy of cigar butts.[11] The "deterrent to short-range performance" part would prove more prescient than he expected.

During 1962, Buffett coached Lee Dimon and tried to explain to him how to manage inventory. But Dimon seemed to think he could just keep buying windmill parts no matter how many windmills Dempster sold. As a former purchasing manager, he knew how to purchase—so he did. The warehouse bulged with windmill parts[12] as Dempster sucked up cash. By early 1962, the company's bank prepared to seize the inventory as security for its loan, then grew alarmed enough to make noises about shutting Dempster down.

Buffett was looking at only a few months before it all caved in and he would have to report to the partners that a business into which he had sunk a million dollars of their money was broke. He tried to recruit his old Columbia friend Bob Dunn to leave his job at U.S. Steel, move to Beatrice, and run Dempster. Dunn actually made a trip out to Beatrice but in the end wasn't interested. Buffett rarely asked advice, but finally that April he took the situation up with his friend Munger while he and Susie were visiting Los Angeles.

"We were going to dinner with the Grahams and the Mungers, Susie and I. We met them at the Captain's Table on El Segundo in L.A. During the dinner, I'm telling Charlie, 'I'm in this mess with this company; I've got this jerk running Dempster, and the inventories keep going up and up.'" Munger, who dissected his law clients' businesses and thought like a manager, said immediately, "Well, I know this guy that used to bring around tough situations out here. Harry Bottle." He knew of Bottle through an acquaintance who specialized in business turnarounds.

Six days later, lured by a $50,000 sign-on bonus, Harry Bottle was in Beatrice. This meant that for the second time—counting the motherly secretary—Buffett had to fire someone. He already knew from that experience that he hated firing people. Not only that, Dempster was the only major business in town, and he had heard through the board that, upon Dimon's appointment to general manager, his wife had crowned herself queen of Beatrice.

Buffett dreaded confrontation. His first instinct was to avoid it, and he ran like a singed cat if anyone threatened to explode at him the way his mother had. But he had also learned to shut down emotionally in the face of a possible eruption. The trick, he felt, was *"to create a shell around yourself with respect to that, without creating a shell that extends beyond"* the situation, to keep from becoming a hardened person.

Whatever happened when he fired Lee Dimon, Harriett Dimon afterward wrote Warren a letter in which she accused him of being "abrupt and unethical," and, through his coldness, of destroying her husband's confidence. Buffett, at almost thirty-two, had not yet learned to fire people with empathy.

Within days he sent his new employee Bill Scott over to Beatrice to help Harry Bottle rummage around the parts department and decide what to toss out and what to reprice.[13] They swept through the place like a swarm of boll weevils and slashed inventory, sold off equipment, closed five branches, raised prices for repair parts, and shut down unprofitable product lines. They laid off a hundred people. This extensive shrinkage of the business by its new out-of-town management on the heels of the firing prompted the townspeople of Beatrice to eye Buffett with increasing distrust, suspecting that he was a ruthless liquidator.

By year-end 1962, Bottle had pulled Dempster into the black. In his January 1963 letter to partners, Buffett called Dempster the high point of the year, and named Harry Bottle the man of the year.[14] He estimated the value of the company, worth $35 per share a year earlier, at $51 per share. The bank was happy. As the assets were sold and the inventory whittled, Dempster piled up about $2 million in cash, worth $15 per share. Meanwhile, Buffett had borrowed—another $20 against each share to have funds to invest. With that, Dempster's investment portfolio was as large as the rest of the partnership's.

Now Buffett was faced with a Sanborn-type problem. Ironically, he had become one of those executives with a cash hoard. The market had rebounded smartly from its lows of June 1962. Trying to use Dempster's extra money, he sent Bottle and Scott to upstate New York to see a manufacturing plant of the Oval Wood Dish Company, which made Popsicle sticks, wooden spoons, and the like, but didn't buy it.[15] Buffett tried to sell Dempster privately but found no takers at his price, so in August he notified the shareholders that the company was for sale, and ran an ad in the *Wall Street Journal:*

Profitable Manufacturing Company for Sale

…Company is a leading farm equipment, fertilizer applicating equipment and water systems manufacturer. [Dempster] will be sold as a going concern at a public sale on September 30, 1963, subject to a negotiated sale until Sept. 13, 1963…. Contact, Mr. Harry T. Bottle, President.

He gave buyers a month to get their bids in before the public auction. He had already been talking to most of the obvious candidates.

Beatrice went berserk at the thought of another new owner that might impose layoffs or a plant closing on its biggest and virtually only employer. In the postwar boom, plants opened, they didn't close. Less than a quarter century after the end of the Great Depression, the prospect of mass unemployment brought back haunting memories of gray-faced men in soup lines, drifters wearing patched coats, a quarter of the nation unemployed, hunger and malnutrition, demeaning government make-work jobs.

The people of Beatrice pulled out the pitchforks.[16] Buffett was shocked. He had saved a dying company.

Didn't they understand that? Without him, Dempster would have gone under.[17] He had not expected the ferocity, the personal vitriol. He had no idea that they would *hate* him.

The townspeople launched a crusade to foil Buffett by raising nearly $3 million to keep the ownership in Beatrice.[18] Day by day the *Beatrice Daily Sun* breathlessly counted down to the deadline as the town fought to save its only factory. The day of the deadline, fire sirens sounded and bells rang out as the mayor stepped to a microphone and announced that Buffett had been defeated; Charles B. Dempster, grandson of the company's founder, headed an investor group that pledged to keep the plant open.[19] Cash in hand, Buffett handed out more than $2 million to his shareholders.[20] But the experience scarred him. Instead of becoming toughened against animosity, he vowed never to let it happen again. He couldn't take a whole town hating him.

One day not long after, Buffett called Walter Schloss, saying, "You know, Walter, I have these small positions in five different companies, and I'll sell them to you." These were Jeddo-Highland Coal, Merchants National Property, Vermont Marble, Genesee & Wyoming Railroad, and another whose name is lost in time. "Well, what price would you want, Warren?" Schloss asked. "I'll sell them to you at the price that I'm carrying them at," Buffett said. "Okay, I'll buy them from you," said Schloss immediately.

"I didn't say, 'Well, you know, you have to look up each one and check what it's worth,'" Schloss says. "I trusted Warren. If I had said, 'Well, I can buy it for ninety percent of what you're carrying it at,' Warren would have said—'Forget it!' I did him a favor, so he wanted to do me one too. If he had also made a profit, then that was fine. And they all worked out brilliantly. I felt that it was his way of saying thank you for selling me your Dempster stock. I don't say that's the reason, but that's what I mean by being an honest guy."

26

Haystacks of Gold

Omaha and California • 1963–1964

Warren may have said he wanted to become a millionaire, but he never said that he would stop there. Later he would describe himself during this period as "a lousy sport at doing anything I didn't want to do." What he wanted to do was invest. His children now ranged from five to ten years old, and one friend described Susie as "sort of a single mother." Warren would show up at school events or toss around a football if asked, but he never initiated a game. He seemed too preoccupied to notice his children's longing for attention. Susie taught the children that his special mission must be respected; she told them, "He can only be so much, so don't expect any more from him." That applied to her, too; Warren was obviously devoted to his wife, and showed that in public, caressing "Susan-o" affectionately and recounting tender, funny variations of how she, the gentle angel, had stooped to marry him, the ukulele-playing financial prodigy who was a secret wreck. At the same time he was so used to her attention and remained so undomesticated that once, when she was nauseous and asked him to bring her a basin, he came back with a colander. She pointed out the holes; he rattled around in the kitchen and returned triumphantly bearing the colander on a cookie sheet. After that, she knew it was hopeless.

Yet the predictability of Warren's habits gave a certain stability to the Buffett household, as Susie's come-on-in, take-a-number atmosphere unfolded around them. In the evenings he reenacted his own father's routine, arriving at the same time every night, slamming the door from the garage, and yelling, "I'm home!" before heading to the living room to read the newspaper. He wasn't uncaring, and he was often available. But in conversation his words often had a subtly prepared, even rehearsed quality. He was always one step ahead. Whatever went on inside his mind took place between the lines; it came through in the silences, the flashes of

wit, the tremulous flight from certain topics of conversation. His feelings danced behind so many veils that even he seemed unaware of them most of the time.

Susie herself was less available these days. Like her father, she stayed busy and surrounded by people; she avoided being alone and unoccupied. She was vice president of the theater guild and involved with United Community Services. She shopped and dined with her large group of women friends, spending far more time with those in the Jewish and black communities than among white socialites.

Susie was becoming prominent among a group of Omaha women who were passionate civil-rights supporters. The battle to end segregation in employment and public facilities, and to remove obstacles to voting rights, was accelerating around the country. She helped organize the Omaha branch of the Panel of Americans, a speakers' bureau that sent one Jew, one Catholic, one white Protestant, and one black Protestant to talk to civic groups, churches, and other organizations about their experiences. The panel was a way of trying to bring people together; one of Susie's friends satirized her role on it as "to apologize for being a WASP." The panel members answered audience questions such as: Why would a Negro want to move to a different part of town? Are any of you prejudiced against one another? Do Jews believe that Christ has been or that He is still coming? Don't you think that sit-ins are just stirring up trouble? At a time when "Negroes" could not use public "white only" restrooms throughout much of the South, the sight of a black woman sitting as an equal on the same stage as white women stirred the audiences.[1]

In the afternoons, often with Susie Jr. in tow, Susie shot back and forth to meetings and committees on the north side of town, trying to tackle the city's worst problem: dilapidated housing and abysmal living conditions in the ghetto.[2] The police stopped her several times. "Why are you in this neighborhood?" they'd ask.

"Honey," the fretful Doc Thompson told Susie Jr., "your mother is going to get killed." He made her carry a police whistle when she rode with her mother. "Honey, you're going to get kidnapped," he said.[3]

Susie's role as problem-solver and emotional carpet-sweeper meant that people thought of calling her whenever there was trouble, of any kind. She had referred to Warren as her "first patient,"[4] and there were others. She stepped in more often now to manage Dottie's life as her sister's ability to cope declined and her drinking increased. She counseled Doris through her divorce from Truman and gave her a copy of a book, Viktor Frankl's *Man's Search for Meaning,* that Doris turned to again and again looking for hope amid misery.[5] For several days, Susie housed an Ethiopian student whom her friend Sue Brownlee was sponsoring in Omaha because Brownlee's father was visiting, and he would have been horrified at a "black woman sleeping in his bed."[6] As a cultural experience for the family, Susie arranged for an Egyptian exchange student who was attending the University of Omaha to move in with them for a semester.[7] Outside of Warren's study, the Buffetts' home was never a refuge from the world, and opportunities for solitude were rare. Yet despite the freewheeling atmosphere, the children were growing up with a balance of freedom and discipline, strong ethical principles instilled by both parents, an excellent education, and an emphasis on enriching experiences. Warren and Susie had many long conversations about how to bring up children in a rich family so that they became self-sufficient rather than feeling entitled.

What the children lacked was attention. Their father was almost exclusively focused on work. Their mother was like a gardener with too many tomato plants, running with her watering can toward whoever was neediest at any given time. The children responded to this upbringing in their different ways. The older Little Susie got, the fewer overtures she made for her mother's attention and the more authority she assumed over her brothers. She also worked as a crossing guard on the busy street outside their house, and spent much of her time with her own friends.[8]

Howie, the tornado, tunneled through the backyard, leaped off the banisters, hung from the curtains, and tore through the house. Every day was April Fool's Day. He dumped a bucket of water from the roof onto Phyllis the babysitter. Everybody knew it wasn't safe to drink a glass of anything he handed them. But he was also easily wounded, tenderhearted like his mother, and burdened by a need for attention that outstripped her

supply. When Susie reached her limit, she sometimes locked Howie in his room.[9]

Peter, who was naturally quiet, felt rewarded for staying in the background as his siblings ruled through squabbles, with bossy Little Susie striving to contain Howie's whirlwind.[10] Placid by nature, Peter retreated inside his head when the energy around him grew too intense. He played "Yankee Doodle" on the piano in a minor key whenever he was unhappy, rather than express his feelings in words.[11]

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Warren approved of his wife's sprawling interests, was proud of her generosity and her leadership role in Omaha, and appreciated her attentiveness to the children, which freed him to focus on his work. He, too, was always adding one more thing to his list, but unlike her he never overextended himself. When something new came into his life, something else went out. The two exceptions were money and friends.

Thanks to both, by 1963 a number of professional investors had figured out that this Buffett fellow out in Omaha knew what he was doing. Even some who normally would never have heard of Warren Buffett were starting to seek him out. He no longer had to charm, much less prospect; he simply laid down the terms on which he would take people's money.

Those outside Omaha often knew more about him than his own neighbors. A friend of Little Susie's was in the family car on the way to the 1964 New York World's Fair when her parents stopped for gas. They struck up a conversation with the woman at the next pump, who turned out to be the mother's former high school teacher. The woman was traveling from Elmira, New York, to Omaha, carrying with her $10,000 to invest with Warren Buffett. Do you know him? she asked. Should I invest with him? He's our neighbor, the family said. Yes, you should. They got back in the car and headed onward to the World's Fair, thinking no more of it. With five kids and a new house, it didn't occur to them to invest for themselves.[12]

Another would-be partner, Laurence Tisch, one of two brothers who were building a New York hotel empire, sent in a check for $30,000 made out to Charlie Munger. Buffett called him and said he was glad to have Tisch join the partnership, but next time, "make the check out to me."

Munger could have used the money. Whatever Laurence Tisch may have thought, in 1963 he and Buffett were not partners. Munger had just opened a partnership of his own after waiting until he had accumulated a fair amount of money—around $300,000—by investing in real estate. But this was peanuts by Buffett's standards, a fraction of Warren and Susie's wealth.

"Charlie had a lot of children early on. That hindered him a lot in getting independent. Starting early with no encumbrances is a big advantage. Even when I came back from Graham-Newman, I mean, I had my 174,000 bucks, I felt like I could do what I wanted to do. I could take courses with my father-in-law the psychologist. I could go out there to the university and sit in the library and read all day."

In fact, Buffett had been encouraging Munger to think seriously about investing as a career ever since they first met. He would say to him, It's nice to be a lawyer and to do real estate on the side, but if you want to make some real money, you ought to start something like my partnerships.[13] In 1962, Munger had gone into partnership with his poker buddy Jack Wheeler. Wheeler was a trader on the Pacific Coast Stock Exchange, the Wild West version in miniature of what was going on back east: a floor full of screaming traders, aggressive men looking to make a killing the fastest way they could. He owned an investing partnership, Wheeler, Cruttenden & Company, which included two "specialist posts" on the exchange, where traders took orders from brokers to trade stocks on the floor. They renamed the business Wheeler, Munger & Co., and sold the trading operation.

Munger continued his law practice but bolted from his old firm together with several other lawyers, among them Roy Tolles and Rod Hills. They founded a new firm, Munger, Tolles, Hills & Wood, that suited their

ideals of how a law firm should be managed.[14] All along, Munger had naturally resisted following the rules of a law firm run by anyone but himself.

"It's no coincidence that the year he started his partnership was the same year he started his new law firm. The partners at the old firm found it abhorrent that a young lawyer in their firm would want to be a member of that gambling den, the Pacific Coast Stock Exchange. When Charlie and Roy left the firm, they sat down with the senior partners and said that they wanted these senior partners to understand that the day would come when every first-rate law firm had a member of the Pacific Coast Stock Exchange. This is probably apocryphal, but you can easily picture Charlie delivering that message to them as a parting shot."

At their new firm, Munger and Hills imposed an elitist, Darwinian ethos designed to attract the brightest and most ambitious. The partners all voted on one another's pay, which was circulated for everyone to know. Even as the firm launched, however, Munger was already spending a significant amount of time at the Pacific Coast Stock Exchange. Within three years, when he was forty-one, he abandoned the law altogether to work full-time at investing. But he still consulted to the firm and kept an office there, where he remained an important, almost spiritual presence. Tolles, too, shifted most of his attention to investing. Hills, by far the most ambitious and dedicated to law of the three, ran the firm and kept it going.

In his new role as a money manager, Munger had to raise money to manage. Buffett had always hustled for investors in an understated way, often using others as his promoters—people like Bill Angle and Henry Brandt, who found and prepared prospects—so that he could show off his impressive track record with a pleasing modesty. But however gracefully he'd hustled, he'd still done it. Munger felt this was demeaning. "I didn't really like raising money," he says. "I always felt that a gentleman should *have* his money." Now, however, he managed to parlay his law practice into an investing partnership by raising funds from his powerful Los Angeles business connections. While his partnership was of course much smaller than Buffett's, the money would be enough.

Jack Wheeler had explained to him that, as a member of the exchange, under its rules he could borrow an additional ninety-five cents for every dollar invested.[15] Thus, if he put up $500, he could borrow another $475 and invest a total of $975. If the investment earned a profit of twenty-five percent, the profit on Munger's $500 of capital would be nearly double that.[16] While having the potential to nearly double his returns, this borrowing likewise nearly doubled his risk. If he lost twenty-five percent, he would lose nearly half his capital. But Munger, more than Buffett—*far* more than Buffett—was willing to take on some debt if he was positive the odds were right.

He and Wheeler set themselves up at the exchange in a "crude, cheap" office festooned with radiator pipes and stuck their secretary, Vivian, in the tiny private back office overlooking an alley.[17] Wheeler, a big spender who liked to live large, had just had a hip replacement and soon started showing up for work on the golf course most mornings.[18] Munger fell into a routine, arriving at five a.m., before the market opened on the East Coast, and checking the quotation board.[19] Buffett had connected him with Ed Anderson, the Graham-Newman investor who had worked for the Atomic Energy Commission and seemed so smart; Munger hired him as his assistant.

Most of the traders at the stock exchange had ignored Munger's arrival on the scene, but one of them, J. Patrick Guerin, took note. Guerin had bought the trading part of Wheeler's partnership when Wheeler had spun it off and gone into business with Munger. A rough-and-tumble guy who was scrambling like mad to better himself, Guerin had grown up with a "divorced father," says Munger, "and his mother was a drunk, so he raised himself on the streets. He was high IQ, rebellious, and maladjusted."[20] After a stint in the Air Force, Guerin had worked as a salesman for IBM, then became a stockbroker at a couple of small firms that peddled third-class stocks because they carried the highest profit, or "spread," for the firm. This was a part of stockbroking Buffett had detested; Guerin, too, found it a relief to escape life as a "prescriptionist."

By the time Munger met him, the lean, handsome Guerin had learned to roll his crisp shirt cuff down over his

tanned forearm to cover his tattoo. He seemed to have a great number of friends as well as a tinge of Hollywood in his blood; one day he brought his friend, the actor Charlton Heston, down to the exchange for a tour.[21] He did the trading for Wheeler, Munger, and says he immediately recognized that Munger had a money mind and began to cultivate him. He came to the conclusion that he'd been on the wrong side of the Wheeler deal right away, and began to emulate Munger and Buffett, with the goal of forming his own investing partnership.

"With some, the idea of buying dollar bills for forty cents takes, and with some it doesn't take. It's like an inoculation. It's extraordinary to me. If it doesn't grab them right away, I find that you can talk to them for years and show them records—you can do everything—and it just doesn't make any difference. I've never seen anyone who became a convert over a ten-year period with this approach. It's always instant recognition or nothing. Whatever it is, I've never understood it. But with a fellow like Rick Guerin—no business background in terms of studying it, but he saw it like that, he understood what it's about, and he was applying it five minutes later. And Rick was smart enough to know that you should get a great teacher, which is what I was lucky enough to do with Ben Graham."

As the day progressed at the Pacific Coast Stock Exchange, Munger would sit, lost in thought, usually reading. "Charlie! Charlie!" Ed Anderson would shout from the next desk. Munger would say nothing, or grunt something in response.[22] Eventually, Anderson learned to make Munger respond clearly to questions, erasing ambiguity; a simple grunt was not sufficient. But it took time and experience for most people to figure out that Munger's mind and mouth often went their separate ways.

Guerin did not know this yet. One day he came into the office from his booth on the floor. "Charlie," he said. "I've just been offered fifty thousand shares of XYZ at fifteen dollars. This looks like a good deal."

"Hmmm, uhm," said Munger.

"Look, Charlie," Guerin carried on, "if this interests you, I'm going to buy it."

"Yeah, yeah," said Munger.

A little later, Guerin walked back into the office and said, "Charlie, we got them."

"Got what?" said Munger.

"We bought the fifty thousand shares at fifteen dollars." Big money.

"What!?" screamed Munger. "What are you talking about! I don't want 'em! Sell 'em! Get rid of 'em right now!"

Guerin tried to explain. He called on Anderson for backup: "Ed, did you hear this when I said it earlier?"

"Charlie, I was sitting here listening to it, just as Rick said," Anderson interjected.

"I don't care! I don't care! Sell 'em! Sell 'em! Sell 'em!" yelled Munger.

Guerin ran out the door and got rid of the shares. "That was an object lesson," says Anderson.[23]

Munger bought cigar butts, did arbitrage, even acquired small businesses—much of this in Buffett's style—but he seemed to be heading in a slightly different direction than Buffett. Periodically, he said to Ed Anderson, "I just like the great businesses." He told Anderson to write up companies like Allergan, the contact-lens-solution maker. Anderson misunderstood and wrote a Grahamian report emphasizing the company's balance sheet. Munger dressed him down for it; he wanted to hear about the intangible qualities of Allergan: the strength of its management, the durability of its brand, what it would take for someone else to compete with it.

Munger had invested in a Caterpillar tractor dealership and saw how it gobbled up money, which sat in the yard in the form of slow-selling tractors. To grow, the business had to buy more tractors, gobbling up more money. Munger wanted to own a business that did not require continual investment, and spat out more cash than it consumed. But what were the qualities of such a business? And what gave such a business an enduring *competitive advantage*? Munger was always asking people, "What's the best business you've ever heard of?" But he was a man of no great patience, and inclined to think that people could read his mind.[24]

His impatience stood out more than any theory that was emerging inside his head. He wanted to get really rich, really fast. He and Roy Tolles made bets on whose portfolio would be up more than one hundred percent in a year. And he was willing to borrow money to make money, whereas Buffett had never borrowed a significant sum in his life. "I need three million dollars," Munger would say, on one of his frequent visits to the Union Bank of California. "Sign here," the bank would reply.[25] With these huge sums, Munger did enormous trades like British Columbia Power, which was selling at around $19 and being taken over by the Canadian government at a little more than $22. Munger put not just his whole partnership, but *all the money he had, and all that he could borrow* into an arbitrage on this single stock[26]—but only because there was *almost* no chance that this deal would fall apart. When the transaction went through, the deal paid off handsomely.

Yet despite their different approaches, Munger regarded Buffett as the king of investing, and saw himself as merely a friendly pretender to the throne.[27] "Vivian, get me Warren!" he shouted several times a day to whichever secretary had come to occupy Vivian's desk.[28] He cultivated Buffett like a garden he was tending. Buffett explained his philosophy: "You've got to coattail," he said.[29] But he did not want his friends to coattail *him* and considered it unethical when they did. Hence, while Munger, cultivating Buffett, was open about his trades—he got Buffett into his British Columbia Power deal, for example—Buffett always kept his trades to himself unless he was working an idea with a partner.

By the early 1960s, the Buffetts had begun to vacation in California, so that Warren could spend more time with Graham and Munger. Once Warren and Susie took the kids on a long trip up and down the coast, but usually when they came to visit, they'd settle into a motel on Santa Monica Boulevard, and he and Munger would talk stocks for hours. The differences in their philosophies made for long conversations. While Buffett made many of the same investments, he would forgo the chance of profits any day to avoid too much risk, and viewed preserving his capital as an almost holy imperative. Munger had the attitude that unless you were already wealthy, you could afford to take some risk—if the odds were right—to get rich. His audacity put him in a different category from all the others who cultivated Buffett, for his deference to Buffett was limited by his high opinion of himself. "Charlie would get so excited by his own words that he'd hyperventilate," says Dick Holland, Buffett's friend and partner, who was present at some of these California get-togethers.[30]

In his quest for the great businesses, Munger did not understand Buffett's fascination with Ben Graham. "Because he is good at explaining Ben Graham," Munger later wrote, Buffett was "behaving like the old Civil War veteran who after a few minutes of ordinary conversation always interjected: 'Boom Boom, that reminds me of the battle of Gettysburg.'"[31]

Graham's flaw, Munger felt, was that he considered the future "more fraught with hazard than ripe with opportunity." Graham was a man, he said, "whose favorite story is that of Croesus, surveying the ruin of his life and empire after the too-hopeful misadventure with Persia, and recalling the words of Solon that 'no man's life should be accounted a happy one until it is over.'"[32] Munger began trying to wean Buffett away from Graham's dreary pessimism, which underlay the drudgery of stooping for cigar butts and sucking out their last puff.

Buffett had a buoyant optimism about the long-term economic future of American business, which had enabled him to invest in the market against his father's and Graham's advice. Yet his investing style still reflected Graham's doom-laden habits of looking at businesses based on what they were worth dead, not alive. Munger wanted Buffett to define the margin of safety in other than purely statistical terms. In doing so,

Munger was working against a subtle tendency toward catastrophism in Buffett's outlook that sometimes cropped up when solving theoretical problems. His father, Howard, had always prepared for the day the currency became worthless, as if that day were imminent. Warren was far more realistic. Nonetheless, he tended to extrapolate mathematical probabilities over time to the inevitable (and often correct) conclusion that if something can go wrong, it eventually will. This style of thinking was the proverbial double-edged sword: It made Buffett a gifted visionary whose thoughts oriented toward doomsday. He would come to use this sword often to slice through knotty problems, sometimes in a very public way.

A few years earlier, another friend of Buffett's, Herb Wolf of New York Hanseatic, an over-the-counter trading house, had helped Buffett tame another personality trait that was hindering his financial quest. Wolf, an investor in the water utility American Water Works, had sought Buffett out in the early 1950s after reading an article that Warren had written on IDS Corporation in the *Commercial & Financial Chronicle.*[33]

"Herb Wolf was one of the smartest guys I ever met. He could tell the effect on American Water Works' earnings if somebody took a bath in Hackensack, New Jersey. He was unbelievable. One day Herb said to me, 'Warren, if you're looking for a gold needle in a haystack of gold, it's not better to find the gold needle.' I had this thing that the more obscure something was, the better I liked it. I thought it was a treasure hunt. Herb got me out of that way of thinking. I loved that guy."

By 1962, Buffett had shaken off the treasure-hunt way of thinking. But he still had Wolf's passion for detail, and even with the addition of Bill Scott, his operations had expanded so much that he now needed another employee to assist him. He managed to keep this one off his own payroll; Buffett would forever go to extremes to control his overhead by paying for expenses in ways that could be shut off as needed, or, better yet—as in this case—could be covered in ways that made them effectively free.

Henry Brandt, Buffett's stockbroker friend who worked at Wood, Struthers & Winthrop, was a born sleuth who had been doing part-time research for the BPL partnership. Buffett had been paying Wood, Struthers for Brandt's time through the brokerage commissions he paid for trading stocks through it. Since he would be paying commissions to somebody anyway, Brandt effectively worked for him for free.[34] If Buffett decided he did not need Brandt's research anymore, he could use another brokerage firm to execute his trades.

Now, Brandt worked for Buffett almost one hundred percent of the time. Buffett paid Brandt by waiving his partnership fee and beginning to cut him in on outside deals without an override. The two men shared an interest in knowing the minutest details about a company. Brandt was fearless about asking questions. Unlike Buffett, he never thought twice about making himself obnoxious if this was what it took. He gladly did enormous amounts of meticulous research by gumshoeing and pestering people. Brandt, however, was incapable of stopping before he found the gold needle. Therefore, Buffett set the agenda and steered the process to keep it from turning into a treasure hunt. Brandt produced foot-high stacks of notes and reports.[35]

Part of Brandt's job for Buffett was finding scuttlebutt, a term used by investment writer Phil Fisher, the apostle of growth, who said that many qualitative factors like the ability to maintain sales growth, good management, and research and development characterized a good investment.[36] These were the qualities that Munger was searching for when he spoke of the great businesses. Fisher's proof that these factors could be used to assess a stock's long-term potential was beginning to creep into Buffett's thinking, and would eventually influence his way of doing business.

Buffett now had Brandt digging into an idea that would have pleased Munger, had he known about it. The episode that resulted would become one of the high points of Buffett's career. This opportunity had its roots in the machinations of a big-time commodities trader, Anthony "Tino" De Angelis, who had become convinced in the late 1950s that he'd found a shortcut to making money in soybean oil. De Angelis—who had a shady past, having once sold tainted meat to the government school-lunch program—had by then become arguably the world's most important and legitimate dealer in soybean oil.

It apparently struck De Angelis one day that no one actually knew how much oil was in his warehouse. He was using the oil as collateral to borrow from banks.[37] As long as nobody knew how much soybean oil was in

the tanks, why not goose up the numbers a little bit so he could borrow more money?

The tanks sat in a warehouse in Bayonne, New Jersey, which was managed by a tiny subsidiary that was an almost invisible part of the gigantic empire of American Express. This arm of the business issued warehouse receipts: documents that certified how much oil was in a tank and could be bought and sold, just like the warehouse receipts for cocoa beans that Graham-Newman had bought from Jay Pritzker in exchange for Rockwood shares.

After American Express had verified the oil in the tanks, De Angelis and his Allied Crude Vegetable Oil Refining Corporation sold these receipts or used them as collateral to borrow from banks—fifty-one banks. Furthermore, American Express stood as guarantor of the quantity of oil behind those receipts.

As for the tanks, they were connected by a system of pipes and valves, and De Angelis found that the soybean oil could be sloshed and shunted around from one tank to another. Thus, a gallon of oil could pull double or triple or quadruple duty as collateral for a loan. Pretty soon, the loans guaranteed by warehouse receipts were secured by a smaller and smaller amount of soybean oil.

Eventually, it occurred to De Angelis that, in fact, very little oil was needed. Indeed, just enough to fool the inspectors would do the trick. So the tanks were filled with seawater, and oil was placed inside a little tube that the inspectors used to guide their measuring sticks. They did not notice the difference or think to test a sample from outside the tube.[38]

At about that point, dealing in the oil itself was no longer generating enough money to satisfy De Angelis, so he began to trade in the futures market. Futures contracts give someone the right to buy soybean oil at a later date, betting on the price of oil in the future versus the price today. They are like the futures contracts Graham-Newman had sold to lock in the price of cocoa beans. For a buck or two per ton, De Angelis could buy tons of soybean oil to be delivered in nine months at a certain price to be paid on that date. The contracts could be sold before the payment came due, which made speculating in oil much cheaper than paying twenty dollars to buy the oil outright in order to sell it later. Thus stretched, the borrowed money went much further; De Angelis could, through the futures market, control a great deal of soybean oil.

The people at American Express had not been entirely asleep; after an anonymous tip in 1960 that something was amiss down in New Jersey, they made inquiries of De Angelis and his employees. But De Angelis, who was as tubby as the tanks full of seawater sitting there right in front of the investigators' eyes, managed to give them answers that apparently satisfied them.

In September 1963, De Angelis saw a chance to make a further killing. The Soviet sunflower crop had failed, and rumors spread that the Russians would have to turn to soybeans for oil. De Angelis decided to corner the soybean market, forcing the Communists to buy from him at an inflated price. There was no particular limit to how many soybean futures he could buy. In fact, he could and did control more soybean oil than actually existed on the planet[39] by borrowing heavily from Ira Haupt & Co., his broker, and taking on obligations in the futures market to buy 1.2 billion pounds of soybean oil. But this large a bet meant that he could afford to have the price of soybean oil go in only one direction—up.

Then, suddenly, it appeared that the U.S. government might not let the Soviet deal go through. The price of soybean oil collapsed, driving the market down by $120 million. Haupt began calling on De Angelis to meet his obligations, but De Angelis sent excuses instead. When Haupt came up short of money, the New York Stock Exchange shut the firm down and Haupt was forced into bankruptcy.[40] De Angelis's lenders, holding the now-worthless warehouse receipts, hired investigators and turned to American Express, issuer of the receipts, to recoup their $150 to $175 million in losses. And American Express—caught holding tanks full of nothing but worthless seawater—saw its stock plummet. The story began to hit the newspapers.

Two days later, on Friday, November 22, 1963, President John F. Kennedy was assassinated while riding in a Dallas motorcade.

Buffett was downstairs eating lunch in the Kiewit Plaza cafeteria with an acquaintance, Al Sorenson, when somebody came in with the news that Kennedy had been shot. He went back upstairs to his office and found that the New York Stock Exchange floor was in a state of stupefaction; stocks were plunging on heavy trading. With the Dow down twenty-one points in half an hour, the market had lost $11 billion.[41] Then the exchange closed, its first emergency closing during trading since the Great Depression.[42] Shortly afterward, the Federal Reserve made a statement of confidence that meant—after translation from Fedargot to English—that international central banks would work together to thwart speculation against the dollar.[43]

As a stunned country erupted in sorrow, anger, and shame, schools were dismissed and businesses shut their doors. Buffett went home to sit, along with the rest of the country, and watch the nonstop television coverage throughout the weekend. He characteristically displayed no powerful surge of emotion, rather a detached gravity. For the first time in history, a U.S. presidential assassination was being covered on television around the globe. For the first time, shock and sorrow united the world through the medium of television. For a brief while America stopped thinking about anything but the assassination.

The newspapers, of course, relegated the American Express scandal to their back inside pages for days as the dramatic headlines took precedence.[44] But Buffett went looking for it. The stock never recovered from the blow it took on Friday when the market closed, and afterward it continued to slide downhill. Investors were fleeing in droves from the stock of one of America's most prestigious financial institutions. Its price had been cut in half.[45] Indeed, it wasn't clear whether American Express would survive.

The company was an emerging financial powerhouse. Now that the average person could suddenly afford air travel, half a billion dollars of the company's Travelers Cheques floated around the world. Its credit card, launched five years earlier, was a huge success. The company's value was its brand name. American Express sold *trust.* Had the taint to its reputation so leaked into customers' consciousness that they no longer trusted the name? Buffett started dropping in on Omaha restaurants and visiting places that took American Express cards and Travelers Cheques.[46] He put Henry Brandt on the case.

Brandt scouted Travelers Cheque users, bank tellers, bank officers, restaurants, hotels, and credit-card holders to gauge how American Express was doing versus its competitors, and whether use of American Express Travelers Cheques and cards had dropped off.[47] Back came the usual foot-high stack of material. Buffett's verdict after sorting through it was that customers were still happy to be associated with the name American Express. The tarnish on Wall Street had not spread to Main Street.[48]

During the months that Buffett was investigating American Express, his father's health declined precipitously. Despite having undergone several surgeries, Howard's cancer had spread throughout his body. In early 1964, Warren took charge as the de facto leader of the family. While time remained, he had Howard remove him from his will to increase the share left to Doris and Bertie in a trust. The amount —$180,000—was a fraction of his and Susie's net worth; he felt it made no sense for him to share it when he could so easily earn money himself. He set up another trust for his children so that Howard could leave them the farm to which the Buffett family had planned to flee when the dollar became worthless. Warren would be trustee of these trusts. Howard's previous will had specified an ordinary wood casket and an economical funeral, and the family convinced him to delete that part.[49] One of the most difficult things Warren felt he had to do was to level with his father that he was no longer a Republican at heart.[50] The reason, he said, was civil rights.[51] Amazingly, however, he could not bring himself to change his voter registration as long as Howard was alive.[52]

"I wouldn't throw that in his face. In fact if he had lived, it would have really constrained my life. I would not have come out against my father politically in public. I can envision his friends wondering why Warren was behaving that way. I couldn't have done it."

Although the family did not talk about Howard's impending death at home,[53] Susie took over much of his care from Leila. She also saw to it that the children took part in their own way. She arranged for them to

stand outside his hospital window with a sign that said, "We Love You, Grandpa." At ten and nine years old, Susie Jr. and Howie understood what was going on. Five-year-old Peter had a vaguer sense of his grandfather's illness. Susie also made sure that Warren—who had trouble facing illness under any circumstances—went to the hospital every day to see his father.

As Howard worsened, Warren poured his attention into American Express. At the time, he had the largest cache of money with which to work that the partnership had ever seen: Its huge profits in 1963 meant that on January 1, 1964, $5 million of new money had come in, and the partnership was already enriched by $3 million of stock gains from the previous year. His own money had exploded: He was now worth $1.8 million. BPL's capital at the beginning of 1964 stood at just under $17.5 million. During Howard's last weeks, Warren began to invest in American Express at a hyperactive sprint, pouring money into stock as fast as he could trade, working tirelessly and methodically to get as many shares as he could without running up the price. Only five years before, he had had to scrape and scrounge to find a few tens of thousands for National American. Never before had he invested like this. Never had he put to work anything approaching this much money, and so fast, in his life.

Through most of Howard's final few days, Susie was alone with him, often for hours at a time. She both feared and understood pain, but she was unafraid of death and had the strength to sit with Howard even when those around her were falling apart. Her gift for comforting the hopeless and those in misery blossomed, and Leila, devastated, let her take charge. In such close proximity to death, Susie found that the boundaries between herself and the other dissolved. "Many people kind of flee, but for me it was natural," she said. "It was a beautiful experience to be that physically and emotionally intimate with someone you loved, because I knew exactly what his needs were. You know when they need to turn their head, or you know when they need a little ice chip. You know. You feel it. I loved him very much. And he gave me that gift for myself of knowing, of having that experience, and realizing how I felt about it."[54]

Susie Jr., Howie, and Peter were sitting at the kitchen table one evening when their father came in, looking more depressed than they had ever seen him. "I'm going to Grandma's house," he said. "Why?" they asked. "Aren't you going to the hospital?" "Grandpa died today," Warren said, and walked out the back door without another word.

"I thought, we don't want to talk about this," Susie Jr. recalls. "This was going to be so big that talking about it was too painful." Big Susie represented the family in planning the funeral, while Warren sat at home, stunned into silence. Leila was distraught, but she anticipated her reunion with her husband in heaven. Susie tried to get Warren to explore and express his feelings about his father's death, but he literally could not think about it, fending it off with anything else available. Falling back upon his core of financial conservatism, he argued with Susie that she had been conned into spending too much money on Howard's coffin.

On the day of the funeral, Warren sat in silence through the service as five hundred people mourned his father. No matter how controversial Howard Buffett's views had been during his life, people came out to show respect for him in the end. Afterward, Warren stayed home for a few days.[55] He parried unwelcome thoughts with the distraction of watching Congress debate landmark civil rights legislation on television. When he returned to the office, he continued buying American Express at a hectic pace. By the end of June 1964, two months after Howard's death, he had put almost $3 million into the stock; it was now the partnership's largest investment. Although he never did show any visible sign of grief,[56] eventually he placed a large portrait of his father on the wall across from his desk. And one day, weeks after the funeral, two bald patches appeared on the sides of his head. His hair had fallen out from the shock.

27

Folly

Six weeks after Howard died, Warren did something unexpected. It was not just about money anymore. American Express had done wrong, and he thought that the company should admit it and pay for the damage. The company's president, Howard Clark, had offered the banks $60 million to settle their demands, saying the company felt morally bound. A group of shareholders sued, arguing that American Express should defend itself rather than pay. Buffett offered to testify on behalf of the management's plan to settle, at his own expense.

"It is our feeling that three or four years from now, this problem may well have added to the stature of the company in establishing standards for financial integrity and responsibility which are far beyond those of the normal commercial enterprise."

But American Express wasn't offering the money to be an example; it just wanted to get the risk behind it of losing a lawsuit that was shadowing its stock. Nor did its customers care; the salad-oil scandal hadn't registered with them in the first place.

Buffett wrote that two paths lay before the company, and that an American Express that took responsibility and paid the $60 million to the banks would be "worth very substantially more than American Express disclaiming responsibility for its subsidiary's acts."[1] He described the $60 million payment as inconsequential in the long run, like a dividend check that got "lost in the mail."

Susie, who had thrown the dividend checks down the incinerator and had never had the nerve to tell her husband about the incident, might have been shocked to hear him so cavalierly dismiss a $60 million dividend check lost in the mail, had she known.[2] And why should Buffett now be interested in whether American Express had "standards for financial integrity and responsibility…beyond those of the normal commercial enterprise"? From whence had come the notion that a reputation for integrity would translate into a business "worth substantially more"? Why did Warren want to testify? While he had always shared his father's commitment to honesty, now he seemed to have inherited Howard's penchant for pontificating on matters of principle.

Buffett had always wanted to influence the managements of companies in which he invested. But in the past he had not attempted to turn his investments into a church, where he could preach while passing around the collection plate. Now he showed up at Howard Clark's door unannounced to lobby him to remain resolute despite the shareholder lawsuit.

"I had this habit of just sort of dropping in and talking to different people. There was one time that Howard said to me that it'd be a little nicer if I paid more attention to the organization chart…. He was very nice about it."[3]

As if to confirm Buffett's sense that moral rectitude had financial value, American Express paid the settlement and worked through its travails, and the stock, which had plunged below $35, rose to more than $49 per share. By November 1964, the partnership owned more than $4.3 million of American Express stock. It had made other huge bets: $4.6 million in Texas Gulf Producing and another $3.5 million in Pure Oil, cigar butts both. Together the three made up more than half the portfolio.[4] By 1965, American Express alone was almost one-third.

The entire partnership had stood at only $7.2 million at the beginning of 1962. Buffett, fearless in concentrating his bets, would keep buying into 1966 until he had spent $13 million on American Express. He felt the partners ought to know a new "ground rule": *"We diversify substantially less than most investment operations. We might invest up to forty percent of our net worth in a single security under conditions coupling an extremely high probability that our facts and our reasoning are correct with a very low probability that anything could drastically change the underlying value of the investment."*[5]

Warren had ventured far from the worldview of his mentor, Ben Graham. The hard-nosed "quantitative" approach espoused by Graham was the world of the speed handicapper, of the cigar-butt stooper who worked from pure statistics. Come to work in the morning, flip through the *Moody's Manual* or the Standard & Poor's weekly report, look for cheap stocks based on a handful of numbers, call Tom Knapp at Tweedy, Browne & Knapp and buy them, go home when the market closed, and sleep well at night. As Buffett said of this, his favorite approach, "The more sure money tends to be made on the obvious quantitative decisions." But the method had a couple of drawbacks. The number of statistical bargains had shrunk to virtually nil, and since cigar butts tended to be small companies, it did not work when large sums of money were involved.

While still working this approach, Buffett had had what he would later call a "high-probability insight" about American Express that confounded Ben Graham's core idea. Unlike companies whose value came from cash, equipment, real estate, and other assets that could be calculated and if necessary liquidated, American Express had little more than its customers' goodwill. He had bet his partners' money—Alice's inheritance; Doc Thompson's savings; Anne Gottschaldt's and Catherine Elberfeld's money; the Angles' life savings; and Estey Graham's money—on that goodwill: the competitive advantage that Charlie Munger had been talking about when he spoke of the "great businesses." This was the method of the class handicapper, of Phil Fisher, and it involved qualitative, as opposed to quantitative, assessments.

Buffett would later write to the partners that buying *"the right company (with the right prospects, inherent industry conditions, management, etc.)"* means *"the price will take care of itself…. This is what causes the cash register to really sing. However, it is an infrequent occurrence, as insights usually are, and of course, no insight is required on the quantitative side—the figures should hit you over the head with a baseball bat. So the really big money tends to be made by investors who are right on qualitative decisions."*[6]

This new emphasis on a qualitative approach paid off in the stupendous results Buffett was able to announce to his partners at the end of 1965. When Buffett made his annual report to them, he compared the huge gain to an earlier prediction that he could beat the Dow by ten percent a year—and referred to the dazzling performance by saying, *"Naturally no writer likes to be publicly humiliated by such a mistake. It is unlikely to be repeated."*[7] Despite the irony, he had begun a tradition of hedging against his partners' high expectations. As his record of outstanding results lengthened, his letters also began to display a preoccupation with measuring success and failure. He used terms like "guilt," "embarrass," "disappoint," or "blame" with unusual frequency, including to describe his so-called mistakes—for he remained obsessed with never letting anyone down.[8] As readers began to recognize this pattern, some assumed he was manipulating them, while others accused him of false modesty. Hardly anybody knew how deep his sense of insecurity ran.

In the year following Howard's death, Warren began to think of memorializing him in some way—for example, through endowing a university chair. But he could never seem to find the perfect vehicle. He and Susie did set up the Buffett Foundation, which made small grants to educational causes. But this wasn't what he had in mind for his father. And he had no intention of becoming a philanthropist; it was Susie who liked to dispense money and she who ran the foundation. Instead, Warren worked with no slacking of intensity. After his incredible home run on American Express, he hired John Harding from the Omaha National Bank trust department in April 1965, to handle administration. And yet, when Harding took the job, Buffett warned him: "I don't know if I'll necessarily be doing this forever, and if I quit, you'll be out of a job."[9]

But there was no sign of his quitting. Harding had hoped to learn investing, but that ambition was soon destroyed. "Any idea that I wanted to handle investments on my own disappeared when I saw how good Warren was," he says. Instead, Harding simply put most of his money into the partnership.

Besides shoveling millions of dollars' worth of American Express stock into BPL, Warren now chased bigger deals that required travel and coordination, both giant cigar butts and "qualitative" class handicapping deals that were a far cry from flipping through the *Moody's Manual* in his bathrobe at home. His next target, another cigar butt, lay far from Omaha.

Each of the Grahamites in Buffett's network was always looking for ideas, and Dan Cowin had brought

Buffett a textile maker in New Bedford, Massachusetts, that was selling at a discount to the value of its assets. [10] His idea was to buy it and liquidate it, to sell it off piecemeal, and to shut it down. Its name was Berkshire Hathaway. By the time the hair had grown back on Warren's head from the shock of his father's loss, he was in full pursuit of this new idea.

Buffett began by circling over the company and observing it. He started leisurely accumulating stock in Berkshire Hathaway. This time, for better or worse, he had chosen a business run by a personality the size of Massachusetts.

Seabury Stanton, president of Berkshire Hathaway, had reluctantly closed more than a dozen mills, one by one, over the past decade. The remnants sprawled along the rivers of the gently moldering towns of coastal New England like empty red-brick temples of a long-lost faith.

He was the second Stanton to oversee the company, and was filled with a sense of destiny. Standing on New Bedford's rocky shores, he cast himself as King Canute, telling the tides of devastation to retreat. But unlike Canute, he actually imagined they would obey. A New England version of *American Gothic* come to life, Seabury peered coldly down on visitors from his six-foot two-inch height—peered down if, that is, they managed to find him. He sat tucked away in a remote penthouse office at the top of a long, narrow staircase, protected by his secretary's secretary, far from the din of the looms.

New Bedford, the town that was his headquarters, once shone as the diamond in New England's crown. For a while the ships that sailed from its harbor to hunt sperm whales made New Bedford North America's richest city.[11] Stanton's grandfather, a whaling captain, had been head of one of the ruling families of the city, capital of the world's most swashbuckling business. But in the mid-nineteenth century, as sperm whales grew scarce, the great harpoon ships had to venture ever farther north in search of the bowhead whale, all the way to the Arctic Ocean. In the autumn of 1871, the families of New Bedford waited in vain for their sons and husbands. Twenty-two ships, surprised by an early winter, lay trapped behind the Arctic ice and never returned.[12] New Bedford would never be the same. Nor would the whaling business, once its mainstay, ever recover. As the supply of whales shrank, demand for their products had dwindled. After 1859, when oil gushed from the ground in Pennsylvania, kerosene became an increasingly popular substitute for the ever-scarcer whale oil. The flexible, comblike whale baleen[13] used in women's corsets, hoop skirts, and fancy parasols, in buggy whips and other mainstays of Victorian life, ceased to find a market as those products gradually disappeared from the shelves.

In 1888, Horatio Hathaway, whose family had roots in the China tea trade,[14] and Joseph Knowles, his treasurer, organized a group of partners to follow what they saw as the next business trend. They formed a pair of textile mills, Acushnet Mill Corporation and Hathaway Manufacturing Company.[15] One of their partners was Hetty Green, the notorious "Witch of Wall Street," a shipping heiress raised in New Bedford who rode the ferry to New York City from her tenement apartment in Hoboken to make loans and investments. She stalked through lower Manhattan in an ancient black alpaca gown, swirling cape, and rusty veiled hat like an elderly bat, her appearance so eccentric and her parsimony so notorious that rumors circulated that she wore newspapers as underclothes. By the time of her death in 1916, Green would be the richest woman in the world.[16]

Financed by such investors, mill after mill sprang up to comb, spin, weave, and dye the deep stacks of cotton bales unloaded from Southern ships onto the wharves of New Bedford. Congressman William McKinley, chairman of the House Ways and Means Committee, who passed through the region from time to time to christen new mills, sponsored a tariff to protect the textile mills from foreign trade, for it was already cheaper to make fabric elsewhere.[17] Thus, even from the beginning, the textile mills of the North needed political help to survive. Early in the twentieth century, a new technology—air-conditioning—revolutionized factories by allowing precise control of humidity as well as particulate matter in the air, and it was no longer economically justifiable to ship cotton out of the South, where labor was cheaper, to the chilly shores of New England. Knowles's successor, James E. Stanton Jr., watched half his competitors' mills melt away to the South.[18] Put to the rack by repeated wage cuts, workers at the remaining northern mills went out on a

crippling five-month strike that broke their employers' backs. James Stanton "hesitated to spend stockholders' money on new equipment when business was so bad and the prospects were so uncertain," recalled his son.[19] He pulled capital out of the business by paying dividends.

By the time Stanton's son Seabury, a Harvard graduate, took over in 1934, the aged, rickety Hathaway plant still rattled out a few bolts of cotton cloth each day. Seabury became seized with a vision of himself as the hero who saved the textile mills. He said "there was a place in New England for a textile company that had the latest machinery and capable management," and he and his brother Otis conceived a five-year plan to modernize.[20] They spent $10 million installing air-conditioning, electric lifts, overhead conveyers, better lighting, and futuristic locker rooms in the company's venerable red-brick buildings. They shifted from cotton to rayon, the poor man's silk, and made rayon parachute cloth during the war, enjoying a temporary boom. Nonetheless, as time passed, cheap foreign labor kept lowering the price their customers would pay. To compete, Seabury squeezed the pay of the workers in his modern new plant. But year by year the tides lapping at his shore—cheaper foreign fabric, better-automated competition, and lower labor costs in the South—presented a rising threat to his mills.

In 1954, Hurricane Carol's fourteen-foot storm surge poured into Hathaway's Cove Street headquarters. Though the firm's distinctive clock tower rode out the storm, a sea of muck and debris swamped the looms and yarn inside the building. Rather than rebuild the mill, the obvious response would have been to join the march southward. Instead, Seabury Stanton merged Hathaway with another mill, Berkshire Fine Spinning, trying in effect to build a levee against a tidal wave.[21]

Berkshire Fine Spinning made everything from the stiffest twills to the sheerest marquisettes, crisp curtain dimity, and fancy broadcloth shirting. Malcolm Chace, its master, steadfastly refused to sink a nickel into modernization. His nephew, Nicholas Brady, had written a paper on the business at the Harvard Business School in 1954, reaching so discouraging a conclusion that he sold his Berkshire stock.

Chace naturally opposed Seabury Stanton's demand for modernization, but the new Berkshire Hathaway was governed by Stanton's sense of destiny. He simplified the product line, focusing on rayon, turning out more than half the men's suit linings in the United States.[22] As Berkshire Hathaway under Stanton unreeled nearly a quarter billion yards of fabrics a year, he continued his "relentless" modernizing, pouring another million dollars into the mills.

By this time, his brother Otis had begun to have doubts about the feasibility of remaining in New Bedford, but Seabury thought the time for a textile mill to move south had passed,[23] and refused to give up his dream of reviving the mills.[24]

When Dan Cowin approached Buffett about Berkshire in 1962, Buffett was already aware of it, just as he was of any U.S. business of a meaningful size. The money that poured into the company meant that Berkshire was worth—according to its accountants—$22 million as a business, or $19.46 per share.[25] And yet, after nine years of losses, anyone could acquire the stock for just seven and a half bucks. Buffett started buying it.[26]

Seabury had been buying Berkshire's stock as well, using extra cash that was not being poured back into the mills to make a tender offer for shares every couple of years. Buffett's theory was that Seabury would continue, and he could time his own transactions, buying whenever the stock got cheap and selling it back to the company whenever the price rose.

He and Cowin set about buying stock. Had anyone known Buffett was buying, it might have pushed up the price, so he bought through Howard Browne of Tweedy, Browne. The firm was a favorite broker of Buffett's because everyone there, especially Browne, was closemouthed, of utmost importance to Buffett given his insistence on secrecy. Tweedy, Browne had code-named the Buffett partnership's account BWX.[27]

When Buffett arrived at Tweedy, Browne, which maintained a tiny office at 52 Wall Street, in the same art

deco building where Ben Graham had once worked, it felt like entering an old-fashioned barbershop, with its black-and-white ceramic tile floor. In a little office to the left sat the firm's secretary and office manager. To the right lay the trading room. Past that, in a small rented alcove half filled with a water cooler and a coatrack—in effect a sort of closet—sat Walter Schloss, running his partnership from a battered desk. Using Graham's method without the slightest variation, he had been averaging returns of better than twenty percent a year since leaving Graham-Newman. To pay his rent to Tweedy, Browne, in lieu of cash he gave the firm commissions by trading stocks. His trades were few, and he was getting a great bargain on the rent. He limited his other expenses to the cost of a subscription to *Value Line Investment Survey,* some paper and pencils, subway tokens, and nothing else.

Along the center of the trading room ran a twenty-foot wooden table, which the firm had acquired somewhere on its way to a garbage dump. Its surface bore the marks of generations of schoolchildren armed with penknives. To write down figures, a tablet had to be placed underneath the paper; otherwise, "Todd loves Mary" would be embossed into the text.

On one side of the child-scarred table, Howard Browne ruled with benign authority. He and his partners faced the firm's trader, who—like all traders—sat, jumpy and restless, waiting for the phone to ring so that he could trade. Next to him, an empty space at the table served as the "visitors' desk." The cheapest of wooden filing cabinets lined the walls.

Nowhere else in New York did Buffett feel so at home as sitting at the Tweedy, Browne visitors' desk. The firm had branched out into arbitrage, workouts (all-but-completed turnaround situations where a little money remained to be made), and "stubs"(companies being acquired and broken up)—all the sorts of things he liked. It traded securities such as fifteen-year Jamaica (Queens) Water warrants—rights to buy the water company's stock, which rose whenever there was speculation that New York City would someday take over the waterworks. They fell again when speculation lulled. Tweedy, Browne bought them every time they dropped and sold them every time they rose, over and over and over again.

The firm also made a specialty of fencing with the managements of these obscure, undervalued businesses, trying to force out hidden value, as with Sanborn Map. "We were always in court suing," one partner says.[28] All of it reeked of the old Graham-Newman days and bore little similarity to the gargantuan American Express deal, but Buffett loved the atmosphere. Tom Knapp researched stocks and spent his days plotting practical jokes when he wasn't orchestrating trades. He had commandeered a huge storage closet, filling it with the four-cent Blue Eagle stamps he and Buffett had made the mistake of buying and topographical maps of the Maine coastline. The pile of maps continually grew, for Knapp was funneling the cash he made from stocks into buying up the coast of Maine.[29] The pile of Blue Eagles slowly shrank as Tweedy, Browne pasted forty stamps onto each batch of the Pink Sheets they sent to Buffett once a week, every week.

The Pink Sheet quotations for stocks not listed on the New York Stock Exchange were stale the moment they went to print. Buffett used his Pink Sheets merely as a starting point for the telephonic bazaar in which calls to numerous brokers might be required to make a trade. He was a master at working this system through his brokers. The lack of a publicly posted price helped reduce competition. Someone who was willing to call every market-maker and squeeze them mercilessly had a meaningful advantage over the less energetic or the more fainthearted.

Browne would call Buffett to let him know they had XYZ stock on offer at $5 a share.

"Hmmm, $4\frac{3}{4}$ bid," Buffett would say, without hesitation. This maneuver, Casting the Line, would fish out how hungry the seller was.

After calling the client to see if he would take a lower price, Browne would call Buffett with the response: "Sorry. Can't take less than five bucks."

"Unthinkable," Buffett would answer.

A few days later, Browne would call Buffett again. "We got the stock at $4^3/4. We'll go along with $4^3/4 bid."

"Sorry," Buffett would now say instantly. "$4^1/2 bid."

Browne would go back to the seller, who would say, "What the hell? What happened to the $4^3/4?"

"We're just passing along the message. $4^1/2 bid."

More calls would go back and forth until a week later, Browne came back to Buffett: "Okay. $4^1/2 bid," he'd say.

"Sorry," Buffett would say, and drop it another eighth. "$4^3/8."

Thus he Buffetted the price ever lower. And rarely—almost never—did he want a stock badly enough to raise his bid.[30]

He placed his first order for Berkshire Hathaway through Tweedy on December 12, 1962, for two thousand shares at $7.50 a share, paying the broker a $20 commission.[31] He told Tweedy to keep buying.

Cowin got the scuttlebutt on Berkshire from board member Stanley Rubin, Berkshire's top salesman, who happened to be a friend of Otis Stanton, another member of the board. Otis Stanton felt his brother was out of touch. Protected by his secretaries in his ivory tower, Seabury was doing more and more drinking as the clash between his lofty vision and reality worsened.[32] Otis was by now sharply at odds with Seabury.[33] He felt his brother should have taken a strike rather than giving in to demands for higher wages.[34] He also disapproved of Seabury's choice of a successor, his son, Jack, who was a pleasant enough young man but not up to the job—according to Otis. Otis had his own idea about who should succeed Seabury—Ken Chace, the vice president of manufacturing.

Seabury Stanton responded to Buffett's purchases as though a takeover threat was imminent, and made several tender offers for the stock. This was exactly what Buffett wanted, for his purchases were predicated on the theory that, eventually, Seabury would buy him out. He wanted the Berkshire stock not to keep it but to sell it. Nevertheless, in every trade there is a buyer and a seller. Seabury Stanton had so far withstood the forces of cheap foreign fabric and Hurricane Carol. Instead of Seabury getting Buffetted, there was a chance that Buffett could get Seaburied.

Eventually, Warren drove up to New Bedford to see the place for himself. For once, he was not just dropping in. Miss Tabor, who was fiercely loyal to Seabury, decided which callers would be allowed through the glass doors and up the narrow stairs to Stanton's penthouse office. When she grimly ushered Warren into Stanton's palatially furnished, ballroom-size wood-paneled lair, he saw that there was no place anywhere near Stanton's desk to sit. This, clearly, was a man used to summoning people to stand before him while he sat behind his desk and directed them what to do.

The two men seated themselves at the uncomfortable rectangular glass conference table in a corner, and Buffett asked where Stanton stood on the next tender offer. Stanton looked at him through the wire-rimmed glasses perched on the tip of his nose. *"He was reasonably cordial. But then he said, 'We'll probably have a tender one of these days, and what price would you sell at, Mr. Buffett?' or words to that effect. The stock at the time was selling at something like $9 or $10 a share.*

"I said I'd sell at $11.50 a share on a tender offer, if they had one. And he said, 'Well, will you promise me that if we have a tender offer you'll tender?'

"I said, 'Well, you know, if it's in the reasonably near future, but not if it's twenty years from now.' But I said, 'Fine.'

"So now I was frozen. I felt that I couldn't buy any more stock because I knew too much about what he might do. So I went home, and not too long after, a letter comes from the Old Colony Trust Company, which was part of First National of Boston, offering $11 3/8 per share to anyone who would tender their Berkshire." That was 12 1/2 cents less per share than agreed.

Buffett was furious. *"It really burned me up. You know, this guy was trying to chisel an eighth of a point from having, in effect, shaken my hand saying this was the deal."*

Warren was used to doing the Buffetting, and now Stanton had tried to chisel him. He sent Dan Cowin to New Bedford to try to reason with Stanton not to renege on the deal. The two men argued, and Stanton denied that he had made a deal with Buffett; he told Cowin that it was his company and he would do as he pleased. That was a mistake. For trying to chisel Warren Buffett, Seabury Stanton was going to be sorry, very sorry. Buffett decided that—instead of selling—now, he would *buy*.

He vowed that he would have Berkshire; he would buy it all. He would own it lock, stock, loom, and spindle. That Berkshire Hathaway was a failing, futile enterprise daunted him not. It was cheap, and he craved it. Above all, he wanted Seabury Stanton not to have it. Buffett and the other shareholders deserved it more. In his determination, he ignored all the lessons learned from the experience at Dempster—save one. And that was the one he should have ignored.

Buffett sent his scouts out, looking for more chunks of the closely held stock. Cowin got hold of enough to join Berkshire's board. But other people began to take notice too. Jack Alexander, Buffett's old friend from Columbia, had an investment partnership with his classmate Buddy Fox. "One day we saw that Warren was buying this Berkshire Hathaway," he says. "And we started to buy." On a trip to New York from their office in Connecticut they told him they were following him in the stock, "He got very upset. 'Look,' he said, 'you're riding on my coattails. That's not right. Cut it out.'"

Fox and Alexander were taken aback. What were they doing wrong? Buffett gave them to understand that he was seeking control. Yet coattail-riding, even in control situations, was a popular pastime among the Graham crowd. It was considered sporting conduct. In effect, Buffett took their stock. I need it more than you, he said. They agreed to sell their stock to him at the then-market price, because it clearly mattered to him so much. He appeared to have some sort of mysterious attachment to Berkshire Hathaway. "It wasn't that important to us. It was obviously very important to him," Alexander says.

Like Fox and Alexander, a few others had also become Buffett-watchers, tracking Warren's trail like the spoor of Bigfoot. This created competition for the stock. He made it understood among the Grahamites that they were to keep their mitts off Berkshire. The only exception was Henry Brandt; he let Brandt—in recompense for his services—buy it below $8.00. He had begun to carry himself with a bit of swagger, which some people found irritating. Yet his surefootedness, the way he always seemed to be so *right,* kept them fascinated. Even his cheapskate qualities were part of the aura. For years he had been possibly the only person doing business regularly in New York who managed to get by with not only free lodging (by staying with Fred Kuhlken's mother, Anne Gottschaldt, on Long Island), but free office space to boot (at Tweedy, Browne).

Photo Insert One



Image 1
Warren, around age two.



Image 2
Warren in 1933 on the running board of the family's first car, a used Chevrolet.



Image 3

Warren dressed in one of his earliest costumes, which his father brought back from a business trip to New York City.



Image 4
Ernest Buffett surrounded by his grandchildren: Warren and Doris at left, Bertie in Ernest's lap.



Image 5
Sidney Buffett, who founded the family grocery store in 1869, in a 1930 photograph with Alice Buffett, his granddaughter.



Image 6
The Stahl sisters in West Point, Nebraska, around 1913. Warren's mother Leila is top right. Seated beside

her is Edith and, in front, Bernice.



Image 7
Warren's father Howard (right rear) plays with his siblings George, Clarence, and Alice in the family's fringed surrey. His mother Henrietta (holding younger brother Fred in her lap) sits in the back seat.



Image 8
Howard and Leila Buffett, shortly after their marriage in 1925.



Image 9
Warren and Bertie in front of the family's Buick, around 1938.



Image 10
A revealing family portrait, around 1937.



Image 11

Warren, age six, holds his favorite toy, a nickel-plated money-changer, in a photograph with his sisters from the winter of 1936-1937. He and Doris later recalled the unhappiness their faces expressed.

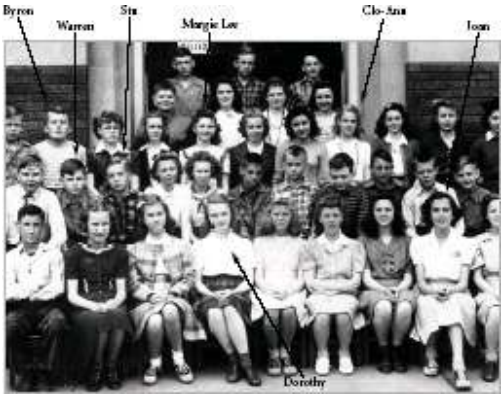


Image 12

The eighth-grade class at Rosehill School, May 1938, showing the girls and boys of the disastrous "triple date" and Warren's other crush, Clo-Ann Kaul.



Image 13

Fred and Ernest Buffett in front of the Buffett & Son grocery store.



Image 14
Bertie, Leila, and Warren sing to Doris's accompaniment in Washington around 1945.



Congressman Howard Buffett

and His

Fight for the People

To My Friends and Neighbors:

Six years ago you elected me to Congress. To that post I have devoted my best efforts—working to deserve the high trust you placed in me.

On every issue I have used a simple American yardstick . . . I have asked myself, "Does this proposal move us TOWARD OR AWAY FROM HUMAN LIBERTY?"

* *

This pamphlet shows how I have voted to promote and to protect our liberty.

To you I have reported the TRUTH about your government—regardless of political considerations.

Your task and mine is to preserve the American heritage for our children. First of all that means that we must remain at peace—with the world and among ourselves. I pledge my continued devotion to that paramount objective.

Faithfully,

HOWARD BUFFETT

THE BUFFETT FAMILY
Warren, Howard and Bertie, standing. Doris and Mrs. Buffett, seated.

Image 15
A 1948 campaign flyer for the only election Howard ever lost.



Image 16
Howard Buffett, Congressman.



Image 17
Warren (second left) and his father (fourth left) on a fishing trip with the Nebraska congressional delegation around 1945. The Buffetts look as though they'd rather be elsewhere.



Image 18
As a preteen, Warren's first love was Daisy Mae Scragg. She always loved Li'l Abner, no matter how he treated her.



Image 19
Warren takes the contrarian view in a January 1946 debate about Congress's problems; this aired on the Washington radio station WTOP's "American School of the Air."



Image 20
Warren in the late 1940s, playing the uke in his classic battered tennis shoes and saggy socks.



Image 21
The Buffetts in the summer of 1950. "Doris and Bertie were knockouts," says Warren, who felt socially maladjusted.



Image 22
Warren's pledge photo for Alpha Sigma Phi fraternity at the University of Pennsylvania, January 1948. Howard Buffett was also an Alpha Sig.



Image 23
Warren, Norma Thurston, and Don Danly pose next to the Springfield Rolls-Royce Brewster Coupe. Don and Warren bought it as a stunt in 1948.

Now that Susie accompanied him on some of these trips, however, at her behest he had upgraded from hosteling with his deceased college friend's mother to taking a room at the Plaza Hotel. Not only was the Plaza more convenient for business, but from Susie's perspective, it put department stores like Bergdorf Goodman, Best & Company, and Henri Bendel close at hand. Then a rumor circulated among Buffett's friends—the kinds of rumors that always swirled around Buffett, like the one that had him stashing his daughter in a dresser drawer rather than buying her a crib—a rumor that he had found the Plaza's cheapest room, a tiny windowless cubicle like his old maid's room at Columbia, and cut a deal to stay there at a beggarly price whenever he came alone to New York.[35] Regardless of the rumor's truth, each time he checked in to the Plaza he doubtless felt a pang of regret, for he no longer stayed in New York scot-free.

The trips to Bergdorf's were another aspect of how much the New York routine had changed. Susie spent her days going to lunch and shopping; in the evenings they went to dinner, then Broadway or cabaret shows. He liked to see her enjoy herself, and she had become used to shopping at the better stores. Nevertheless, while she now had the power to loosen the purse strings, their game was to tussle over how much money she got to spend. Her way of justifying spending was to do it on someone else's behalf. Susie Jr. was often a beneficiary; her closets filled with clothes from Bergdorf's. One time Susie came back from New York with an ermine jacket. They had met a friend of Warren's who took them to a furrier. "I felt like I had to buy something," she said. "They were being so nice to me." She had done it for the furrier's sake.

Now, all this protecting Berkshire from coattailing would be for naught unless Buffett figured out how to run it well enough to keep Susie in ermine jackets. He made another visit to New Bedford, going by the mill to see Jack Stanton, the heir apparent. Somebody was going to have to run the place once it was wrested from Seabury's hands, and Warren needed to know who that would be.

But Stanton claimed to be very busy, and sent Ken Chace to escort Buffett around the mill.[*22] Stanton had no idea that his uncle had already suggested Chace as a possible replacement for Seabury.

Ken Chace was a chemical engineer by training, forty-seven, quiet, controlled, and sincere. He did not know that he was a contender to run the company; nonetheless, he spent two days teaching Buffett the textile business while Buffett asked question after question and Chace explained the mills' problems. Buffett was impressed by his candor and equally impressed by his attitude. Chace made it clear that he thought the Stantons foolish for pouring money into a business that was on its way down the drain.[36] When the tour was over, Buffett told Chace he would "be in touch."[37]

A month or so later, Stanley Rubin had to be called into service to persuade Chace not to take a job at a competing textile mill. Meanwhile, Buffett was scrambling to buy more stock, including shares that belonged to various members of the Chace family.

Buffett's final target was Otis Stanton, who wanted his brother to retire. He had no confidence in Seabury's son, Jack, and doubted Seabury would ever let go of the reins.

Otis and his wife, Mary, agreed to meet Buffett at the Wamsutta Club in New Bedford.[38] Over lunch at the graceful Italianate mansion, a relic of New Bedford's onetime grandeur, Otis acknowledged that he would sell, on the condition that Buffett make an equivalent offer to Seabury. Warren agreed. Then Mary Stanton asked if they could keep just a couple of shares out of the two thousand they were selling, out of family sentiment. Just a couple of shares.

Buffett said no. It was all or nothing.[39]

Otis Stanton's two thousand shares pushed Warren's ownership to forty-nine percent of Berkshire Hathaway —enough to give him effective control. With the prize within his grasp, he met Ken Chace one April afternoon in New York and walked him out to the teeming plaza at Fifth Avenue and Central Park South, where he sprang for two bars of ice cream on a stick. Within a bite or two he got to the point, saying, "Ken, I'd like to have you become president of Berkshire Hathaway. How do you feel about that?" Now that he controlled the company, he said, he could change the management at the next directors' meeting.[40] Chace, who was stunned to be selected despite the hints Rubin had given him when he convinced him not to take another job, agreed to keep quiet until the board meeting.

Not realizing that his fate had been decided, Jack Stanton and his wife raced down from New Bedford to meet Warren and Susie at the Plaza Hotel for breakfast. Kitty Stanton, more aggressive than her husband, pled Jack's case. Reaching for an argument that would appeal to the Buffetts, Kitty threw in what she must have thought was the clincher. Buffett surely would not overturn New England's hereditary mill aristocracy, who had overseen the business for generations, to put a mill rat like Ken Chace in charge. She and Jack fit in at the Wamsutta Club. Kitty, after all, was a Junior Leaguer, like Susie.[41]

"She was a nice enough person. But I also got the impression that she felt Jack was entitled to it because of his dad. Part of her appeal was that Ken Chace really wasn't in the same class as Jack Stanton and she and Susie and I were."

Poor Kitty, making this pitch to a man who so disdained hierarchy that he had refused to join Ak-Sar-Ben and thumbed his nose at the establishment of Omaha.

It was too late for Jack. It was too late for Seabury, who ruled by autocracy and had no friends on the board. Even his own chairman, Malcolm Chace, did not like him. Thus, when backers of Buffett arranged for him to be nominated to the board at a special meeting, on April 14, 1965, he was swiftly elected a director with much of the board's support.[42]

A few weeks later, Buffett flew into New Bedford, where he was greeted by a headline in the *New Bedford Standard-Times* about "outside interests" taking over the company.[43] The planted story infuriated him. The one lesson that had stuck with him from Dempster was to never, ever let himself be branded a liquidator—and wind up with a whole town hating him. Buffett vowed to the press that he would carry on business as usual. He denied that mill closings would result from the takeover—and saddled himself publicly with this commitment.

On May 10, 1965, the board convened at Berkshire's headquarters in New Bedford. It presented a silver tray to the retiring vice president of sales, approved the minutes of the last meeting, and agreed to increase wages five percent. Then the meeting turned surreal.

Seabury, his nearly bald seventy-year-old head speckled with age spots, claimed that he had planned to retire in December to let Jack succeed him. But, he said, he could not continue as president "of an organization over which he would not have complete authority."[44] With as much hauteur as his character allowed him—which was considerable, despite the mutineers having taken over the ship—Seabury made a little speech, commending himself for his accomplishments. Then he tendered his resignation, and the board accepted it. Jack Stanton added a bitter little coda, saying that, had he become president in December, he was certain that it would have meant "continued success and profitable operations." The board listened patiently, then accepted his resignation as well.

At that point, Jack Stanton put down his pen and stopped taking the minutes in which these two speeches had been recorded, and the two Stantons stalked out of the room. The board paused, and sighed with relief.

Moving quickly on, the board elected Buffett chairman and confirmed Ken Chace in his new job running the doomed company that Buffett—in a moment of folly—had exerted such strenuous effort to acquire. A few days later, he explained his thinking on textiles in a newspaper interview. *"We're neither pro nor con. It's a business decision. We try to assess a business. Price is the big factor in investment. It determines the decision. We bought Berkshire Hathaway at a good price."*[45]

He would later come to revise that opinion.

"So I bought my own cigar butt, and I tried to smoke it. You walk down the street and you see a cigar butt, and it's kind of soggy and disgusting and repels you, but it's free…and there may be one puff left in it. Berkshire didn't have any more puffs. So all you had was a soggy cigar butt in your mouth. That was Berkshire Hathaway in 1965. I had a lot of money tied up in the cigar butt.[46]

"I would have been better off if I'd never heard of Berkshire Hathaway."

28

Dry Tinder

Omaha • 1965–1966

The dynamics changed one hundred percent when my father died," says Doris. "Everything went flying into

space. My father was the linchpin of our family. The center was gone."

Leila had endured multiple losses over recent years. Her mother, Stella, had died in 1960 in Norfolk State Hospital, and her sister Bernice had died a year later of bone cancer. Without Howard, she had to find a new sense of purpose, and she became dependent on Warren and Susie and their family. The grandchildren went to her house on Sundays, where she gave them bags of candy to eat during church, then took them to lunch afterward and gave them money if they could add up the bill correctly. In the afternoons, she took them to Woolworth's to buy a toy to play with at her house. Like Howard, who had once paid his children to go to church, she found a Buffettesque solution to the problem of her loneliness—making deals with the grandchildren so that they would stay with her as long as possible.

Howard's presence was what had always made being with Leila tolerable to Doris and Warren. Without him, both found visits with their mother unbearable. Warren trembled when forced to be in proximity to her. At Thanksgiving, he took a plate, went upstairs, and ate dinner by himself. Leila continued to erupt in occasional fits of rage. For decades, her bizarre behavior had been aimed only at family members, though once she leaped out of the car in a parking lot and spent an hour screaming at an acquaintance over some trivial matter, as Big Susie and Howie looked on in astonishment. But Doris, who had idolized her father even more than her brother had, was still her main victim. Doris had always felt she had let the whole family down with her divorce from Truman. The contrast between Warren and Susie's successes and her own life as a divorcée at a time when divorce was still rare only reinforced her lingering feelings of worthlessness. Shortly before his death, Howard had told her that she must remarry to provide a father for her children. So she did, to George Lear, the first person who asked her.[1] He was a lovable man; but Doris felt coerced into remarrying, which augured poorly for the union's prospects.

Bertie, always the least troubled by her mother's behavior and the least dependent on her father, now found her life the least changed by her father's death. Like Warren, however, her relationship with money both triggered her anxieties and gave her a sense of control. She kept records of every dollar she spent, and when she felt stressed she paid bills to relax.

All of the Buffetts had "issues" with money that ran so deep none of them really noticed what an unusual family they were. After Howard's death, Warren and Susie naturally assumed leadership of the family —partly because of their money, but also through the force of their personalities. Leila and Doris and Bertie looked to Warren and Susie for support, and so did virtually everyone else. Warren's uncle Fred Buffett and his wife, Katie, who now owned the grocery store, gave Warren a run for his money in the family's cheapskate contest. They were especially attached to Warren and Susie, and grew more so as their nephew's stature and wealth increased. Leila, who had always been jealous of her sister-in-law, fixated on an incident many years before in which Ernest had danced with the vivacious Katie and not her at a Rotary Club dance. Now she grew even more jealous of Katie, and Susie—who was trusted by everyone—had to juggle visits to separate them. Given all the work to separate Leila from Warren and from Katie, Susie was an expert juggler by the time she had nursed Howard through his final illness. Perhaps it was not surprising, therefore, that Warren's aunt Alice, his favorite relative since childhood, had grown to trust Susie more than anyone else in the family except him.

So it was Susie, not Leila, whom Alice tracked down one Monday in late 1965. Susie was at the beauty parlor with Doris when the call came. She got out from under the dryer to go to the phone at the front desk; Alice explained that she was concerned about Leila's sister Edie, who had called her on Sunday to say she was feeling extremely depressed. Alice, a fellow teacher, had taken Edie for a drive and talked to her, and they had stopped for ice cream. Edie idolized Warren and Susie and Alice, indeed all the Buffetts; she confided that she felt she had disgraced the perfect family with her imperfect life.[2] Her impulsive, high-spirited marriage had not worked out; the husband she had followed to Brazil had turned out to be a philandering embezzler who left her there for someone else. Since returning from Brazil, she had found it hard adjusting to life as a divorced single mother of two daughters in Omaha.

Alice told Susie that today Edie hadn't shown up at Technical High School to teach her home economics classes. Worried, Alice had gone over to Edie's apartment. Nobody answered when she rang and knocked. Alice told Susie that she feared that something had happened.

So Susie raced out the door to her gold Cadillac convertible, with her rollers still in her hair, drove over to the garage apartment where Edie lived, and started knocking and ringing herself. When nobody answered, she got inside somehow and began to search. She found no sign of anybody; the place was immaculate. There were no notes or messages and Edie's car was there. Susie continued searching until she reached the basement of the house, and there she found Edie. She had slit her wrists, and was already dead.[3]

Susie called an ambulance, then had to break the news to the family. No one had known that Edie was this depressed, and nobody had seriously considered her a possible victim of the Stahl family's history of mental instability until now.

Those whom Edie had left behind worked through a complex web of feelings: guilt that she had been so desperate without their realizing it; pity that she may have seen herself as so inferior to the Buffetts; grief at the loss. Warren, Doris, and Bertie were shaken and sad at the loss of a kind, loving aunt whom they had been extremely fond of since childhood.

There is no telling what Leila, sixty-two years old, felt at her sister's death. But why should Leila—who always did feel put upon—feel any different than other survivors of those who commit suicide, who normally experience anger and abandonment, along with other emotions? At the very least, Edie's death meant that Leila was the last remaining member of her immediate family; Edie had also taken away the opportunity to repair their strained relationship. And yet another of the Stahls had embarrassed the Buffetts, this time by stigmatizing the family with suicide. Whatever Leila did feel, less than a month later she abruptly married Roy Ralph, a pleasant man twenty years her senior who had been pursuing her since Howard's death. Until now she had refused his proposals. Her relatives had listened with numb boredom throughout her widowhood as she ceaselessly invoked the past and the $38^1/2$ wonderful years with Howard. Thus she stunned them all when she reversed herself—and changed her name to Leila Ralph. Some of them thought she was out of her mind, and conceivably she was, at least temporarily. Howard, who had remained an invisible but constant presence since his death less than two years before, now went unmentioned at family gatherings for the sake of politeness, while his children adapted uneasily to a new stepfather who was in his eighties.

Susie, meanwhile, was taking on more obligations than ever, not just in the family but in the community. She began to press Warren to call a halt to his continuing obsession. The Buffett Partnership was stuffed like a Thanksgiving turkey by American Express. It ended 1965 with assets of $37 million, including more than $3.5 million in profit on this one stock, which had risen to $50, then $60, then $70 per share. Warren had earned more than $2.5 million in fees, bringing his and Susie's stake in the partnership to $6.8 million. He was thirty-five years old. The Buffetts were among the very rich by the standards of 1966. How much money did they need? How long did he have to keep going at this pace? Now that they were so rich, Susie thought they should do more for Omaha.

In 1966 she glowed with the fire of a woman who had found her cause in life. She had become close to leaders of the black community and was all over Omaha, brainstorming, coordinating, cajoling, publicizing, working on behind-the-scenes relationships in a town where racial tensions were reaching the point of violence. Every summer now in the nation's major cities, race riots flared after minor incidents involving the police. Martin Luther King Jr. had issued a call the previous year: Desegregating workplaces and public facilities wasn't enough; segregated housing had to be eliminated. The idea terrified many whites, especially after riots in the Watts neighborhood of Los Angeles, which had turned into a war zone of arson, sniping, and looting in which thirty-four people were killed. Similar uprisings had taken place in Cleveland; Chicago; Brooklyn; Jacksonville, Florida; and other smaller towns.[4] During a fifteen-day heat wave in July 1966, riots erupted in Omaha; the governor called out the National Guard, blaming the riots on "an environment unfit for human habitation."[5] Susie now made the elimination of segregated housing in Omaha her central cause. She tried to involve Warren in some of her community and civil-rights work, and he complied, but he was not much for committees. In the 1960s Buffett generally rolled over sapheads without even commenting. *"I got involved in half a dozen of these things. It's just the nature of it; if people focus their whole lives on one thing, they get a little obsessed after a while. And Susie would always see it coming with me—I would be sitting with these guys and she could see the look on my face as they went off into the wild blue yonder."*

Committee meetings also gave him a "splitting headache," according to Munger; his way, therefore, was to let other people sit on the committees while he fed them ideas. Warren was far from indifferent to social and political causes, however. He had become deeply concerned about the potential for nuclear war—a vivid and seemingly impending threat in the early 1960s, since President Kennedy had urged families to build fallout shelters in order to survive a nuclear attack and the United States had barely averted a nuclear war after a standoff between Kennedy and Khrushchev over the removal of Soviet missiles from Cuba. When Buffett discovered philosopher Bertrand Russell's 1962 antinuclear treatise, *Has Man a Future?*, it affected him powerfully.[6] He identified with Russell, admired his philosophical rigor, and frequently cited his opinions and aphorisms. He even kept a small plaque on his desk quoting a phrase from an influential antinuclear "manifesto" on which Russell had collaborated with Albert Einstein: "Remember your humanity, and forget the rest."[7]

But it was the antiwar movement that had taken on more urgency in Buffett's mind after Congress passed the Gulf of Tonkin Resolution in 1964, authorizing President Johnson to use military force in Southeast Asia without formally declaring war, using an alleged but unproven naval attack against a U.S. destroyer as the pretext to attack North Vietnam. Young men were burning their draft cards, going to jail, and fleeing to Canada to avoid the draft. Hundreds of thousands took to the streets all over the world to protest the war escalation; they marched in New York City on Fifth Avenue, in Times Square, and at the New York Stock Exchange; in Tokyo, London, Rome, Philadelphia, San Francisco, Los Angeles, and elsewhere.

Warren was not an ideological pacifist like many of those who were marching, nor an extreme isolationist like his father, but he did feel strongly that the war was wrong, and that U.S. involvement in it was based on deception—especially troubling for a man who placed such a high value on honesty.

He started asking speakers over to the house to talk to his friends about it. Once he brought an antiwar speaker from as far away as Pennsylvania.[8] He himself, however, was not going to march against the war.

Warren had strong views about specialization; he defined his special skills as thinking and making money. When asked to donate, his first choice, always, was to donate ideas, including ideas that would get other people to give money. But he would also give money himself—not a lot, but some—to politicians and to Susie's causes. He never labored in the trenches stuffing envelopes; volunteering directly for causes, no matter how urgent and important, would consume time he felt was more efficiently spent thinking of ideas and making more money to write bigger checks.

Many people in the 1960s felt a burning desire to tear down the Establishment that had created the war and operated the "military-industrial complex"—a desire to avoid "selling out" to "the Man." For some, therefore, social consciousness clashed with the need to make a living. Warren, however, saw himself as working for his partners, not for "The Man," and as someone whose business acumen and money helped the civil rights and antiwar causes. So he could focus on his business with a sense of dual purpose, and felt no inner conflict about how he spent his time.

The conflict he *was* beginning to feel was a struggle to find investments for the partnership. During the past year he had put money into safe but increasingly scarce cigar butts like his old favorite Philadelphia and Reading, and Consolidation Coal. He had managed to find some of the few undervalued stocks that still paraded through the Standard & Poor's weekly report: Employers Reinsurance, F. W. Woolworth, and First Lincoln Financial. He'd also bought some stock in Disney after meeting Walt Disney and seeing the entertainment showman's singular focus, his love of his work, and the way these had translated into a priceless catalog of entertainment. But the concept of "great businesses" had not entirely sunk in, and he didn't load up. Of course, he'd continued to cobble together a bigger and bigger stake in Berkshire Hathaway. But he had also built a $7 million "short" position in stocks like Alcoa, Montgomery Ward, Travelers Insurance, and Caterpillar Tractor—borrowing the shares and selling them as a hedge against the risk that the market would plunge.[9] When investors changed their minds, stocks often dropped like doves thwacked full of bird shot in midflight. He wanted the protection for the partners' portfolio.

In January 1966, another $6.8 million had rolled in from his partners; Buffett found himself with a $44 million partnership and too few cigar butts to light with his cash. Thus, for the first time, he had set aside some money and left it unused—an extraordinary decision.[10] Ever since the day he left Columbia Business School, his problem had always been getting his hands on enough money to pump into a seemingly endless supply of investment ideas.

Then, on February 9, 1966, the Dow had briefly streaked across the mythical one thousand mark before closing just a few points below. The chant began: Dow one thousand! Dow one thousand! The market would not break through the barrier again that year, but the euphoria carried on anyway.

Buffett had been worrying all year about disappointing his partners. Although he started his latest letter to them cheerily with the news about the huge profits on American Express—"Our War on Poverty was successful in 1965," he wrote, alluding to President Johnson's program to bring about a "Great Society" through a vast array of new social-welfare programs—he then delivered the real news in what would be the first of many similar warnings: "I now feel that we are much closer to the point where increased size may prove disadvantageous." And with that he announced that he would be shutting the door to the partnership, locking it, and putting away the key.

There would be no more new partners. He made a joke of it. Susie couldn't have any more kids, he wrote, because they wouldn't be allowed in. This joke was not particularly apt, since none of their children had ever actually been partners—or would be. He was determined to manage their expectations about money, in order to ensure that they would find their own way in life. From an early age, each of the kids knew not to expect financial help from him except to pay for their education. He could have brought the children into the partnership as a learning exercise—to teach them about money, about investing, and about how he spent his time. Certainly he used it that way with those who were members of the partnership. But Warren rarely—if ever—"taught" those he saw day to day. For him, teaching was a performance, a conscious act that took place before an audience. His kids got no lessons.

Instead, he bought them stock in the benighted Berkshire Hathaway. As trustee of the trust left to his children by his father, he sold the farm that Howard had bought as a refuge for the family and used the money to buy the stock. Given that Warren didn't approve of unearned wealth—which was how he viewed inheritance—he might have left the farm alone. A small farm in Nebraska would never be worth much, and the kids would never become rich from their grandfather's inheritance. But by investing the proceeds in his floundering textile business, he increased his hold on Berkshire by another two thousand shares. Why he cared so much about it was a mystery to observers, but ever since Buffetting his way to control of Berkshire, he seemed obsessed by it.

The Buffett kids were not expecting to get rich. They did not even really know that their family was rich.[11] Their parents wanted them to be raised unspoiled, and they were. Like children everywhere, they had to do chores to get their allowances. But when it came to money, their family's odd disconnection meant that Susie and Warren tussled over her allowance as if the Buffetts were broke; then she got the money anyway and used it to give them an upper-middle-class life. The children went on nice vacations, enjoyed themselves at the country club, wore good clothes, and saw their mother's Cadillac and fur coats. But they never got to take money for granted. Their father niggled over small amounts of money all the time and surprised them by denying little requests. If he took them to a movie, he might not pay for popcorn. If one of the kids asked for something, his answer might well be no: If I did it for you, I'd have to do it for everyone.

Whatever message he and Susie were trying to give the children about money, one unvarying theme came through: Money was important. They were growing up in a household where it was routinely used as a tool of control. Warren would take Big Susie to a store for her birthday and give her ninety minutes to race through and buy whatever she could grab. The Buffett side of the family had always been about making deals. Although Susie felt that Warren's obsession with making money was unworthy, she still angled to get more of it from him. Now she was struggling with her weight and this too became a money deal. Warren's childhood obsession with weighing machines—he would have weighed himself fifty times a day—had been no passing phase; he was obsessed with his family's weight and preoccupied with keeping them all thin.

The family's eating habits helped neither his cause nor their health. Susie, who had suffered from a mysterious and excruciating abdominal adhesion two years before, cooked unenthusiastically. She and Warren both willingly ate the same thing day after day: mostly meat and potatoes. Unlike Warren, Susie would eat vegetables, but she refused every fruit except watermelon. She picked at healthy food while living on chocolate and Rice Krispies treats, frosting out of a can, cookies, Tootsie Rolls, and milk, milk, milk. Warren breakfasted on Fritos and Pepsi, ate handfuls of chocolate and popcorn, and chose steaks, hamburgers, and the odd sandwich as his mainstay meals.

Finally, Susie asked him to make a deal to pay her to keep her weight at 118 pounds. Since she cared less about money than her husband did, however, motivation was a problem for her. All month long she picked and snacked; but then, as the weigh-in date approached, she would get on the scale. If the news was bad and she had to take the pounds off fast, "Uh-oh," she'd say to one of Susie Jr.'s friends: "Kelsey, I've got to call your mom for her diuretic pills."[12]

Warren disciplined himself to maintain his own weight by dangling money in front of his kids. When they were younger, he made out unsigned checks to them for $10,000 and said that if he didn't weigh 173 pounds on such-and-such a date, he would sign the checks. Little Susie and Howie went crazy trying to tempt him with ice cream and chocolate cake. But the prospect of giving up money pained Warren far more than giving up a treat. He made out those checks over and over, but he never had to sign a single one.[13]

* * *

Instead of his children, one of the last new partners Warren allowed to join his partnership was Marshall Weinberg, a stockbroker friend of Walter Schloss who had taken Graham's seminar twice. A cultivated man with a bent for the arts and philosophy, Weinberg had met Buffett at one of Graham's lectures at the New School in New York. Lunching together a few times and talking of stocks, they had become friends. Weinberg soon gave up on interesting Buffett in music, art, philosophy, or travel, but Buffett traded through him at times and Weinberg became interested in joining the partnership. So on one of the Buffetts' frequent trips to New York, Warren agreed to meet with him to discuss it.

Loping downstairs from his room at the Plaza, Warren met Weinberg in the lobby. Then Susie glided in, and Warren lit up. She sidled over to him and gave him a hug, then put her hand behind him as if he were a child and gazed at Weinberg with her large brown eyes. "How *are* you?" she asked, beaming at him. She wanted to know everything about him. He felt he was being welcomed into a family and went away thinking that he had made a new friend in Susie. He also intuited that he had just met Buffett's most powerful asset.[14]

Weinberg had squeaked through the door just in time. Through 1966, the urban riots continued, the war in Vietnam escalated, and antiwar protesters rallied in New York, Boston, Philadelphia, Chicago, Washington, and San Francisco. The stock market began to decline, down ten percent from the beginning of the year. Buffett had never stopped looking for things to buy, no matter how uphill the climb, but despite the market's easing, the days of cigar butts scattered everywhere were gone. He became seriously worried about how to keep up his performance. He thought more often of buying entire businesses now. In fact, he had gotten started on an entirely new venture, one that consumed large amounts of his time.

29

What a Worsted Is

Omaha • 1966–1967

Buffett ran a $50 million partnership that owned a textile business, yet he had never stopped looking like the Raggedy Man.[1] His only concession to the sideburns and long hair that other men wore was a little patch of fine dark hairs that he occasionally let sprout from his crew cut like baby grass over his domed forehead.

The rest of the world was turning mod. Men wore Nehru jackets, turtlenecks, and wide geometric-and floral-patterned ties. Buffett never varied his skinny striped ties and white shirt, though the shirt's collar had grown tighter, and the jacket of the old gray suit he wore day after day bunched around his shoulders and gapped at the neckline. He refused to part with his favorite camel-colored V-neck sweater, although its elbows had grown thin. His shoes had holes in the soles. When Chuck Peterson tried to introduce him to a potential investor at a party, the man's reaction had been "You're kidding!" He didn't even want to talk to Buffett, based purely on the way Warren dressed.[2] Susie had no influence; her husband's taste had formed back in 1949 when he was selling suits at JC Penney's, and Mr. Lanford told him that "nobody knows what a worsted is."

He now bought his suits at Parsow's, downstairs in the lobby of Kiewit Plaza, where Sol Parsow was always trying to upgrade his taste. Buffett considered Parsow a "*very wild dresser*" and paid no attention to his suggestions. Warren's idea of a proper suit was one *"that you could bury a ninety-year-old banker from a small town in western Nebraska in."*[3] Parsow prided himself on giving Buffett good advice about stocks, however. He had steered him away from hatter Byer-Rolnick, warning that hats were going out of style. He had also kept him from investing in Oxxford Clothes, delivering the news that suits were not a growth business in the 1960s.[4] Buffett, however, had ignored Parsow's warning not to buy suit-lining maker Berkshire Hathaway.[5]

Since he knew nothing about clothing, why the next episode of his career would consist of buying a department store remains somewhat mysterious. It took a whopper of an idea to crack open his wallet these days. But in 1966 he was having trouble finding things to buy for the partnership.

It was one of his newer friends, David "Sandy" Gottesman, who brought him this latest idea. Gottesman was like Fred Stanback, Bill Ruane, Dan Cowin, Tom Knapp, Henry Brandt, Ed Anderson, and Charlie Munger: people who worked their own ideas and fed ideas to him. The ever-handy Ruane had connected them at a lunch in New York City. Gottesman, a fellow Harvard graduate from a different year, worked for a small investment bank and sometimes found the odd cigar butt or two.[6] Buffett considered him a shrewd, disciplined, hard-nosed, opinionated, unabashed capitalist. Naturally, they hit it off.

"From then on," says Gottesman, "every time I had a good idea, I would call Warren. It was like vetting. If you could get Warren interested in something, you knew that you had the right idea." The quintessential New Yorker, Gottesman valued his time with Buffett highly enough to be willing to travel to Omaha often. "We'd stay up till late at night talking about stocks," he says, "and then I'd go back the next morning and go to work in New York. We also talked every Sunday night at around ten o'clock for maybe an hour and a half about stocks. I was looking forward to that conversation all week, thinking about what are the stocks I'm going to talk to him about. No matter what I talked to him about, he knew as much as I did about them, most of the time. After I hung up," says Gottesman, "I used to go to bed around midnight or afterward, and I couldn't go to sleep for a couple of hours, I was so charged up."

In January 1966, Gottesman had brought Buffett an idea: Hochschild-Kohn, a venerable department store headquartered in a building a city block in size that sat at an intersection in downtown Baltimore. Although it was kitty-corner to three competitors—Hutzler's, Hecht Co., and Stewart's—all four stores had prospered since the times when ladies donned hats and gloves and rode the streetcar downtown to spend all day shopping and having lunch. The well-regarded Hochschild-Kohn sold apparel, home furnishings, and housewares. Its proprietors, the Kohn family, drove old cars and lived modestly—just the kind of people Buffett liked.

Martin Kohn, the company's CEO, had called Gottesman to tell him that several branches of the family were thinking of selling and would probably accept a discount price. The Kohns "took enormous pride in this

store," says Gottesman, "but if it had a good dress department, they never bought a dress there. It was too expensive for them."

When Charlie Munger was in Omaha, he, Buffett, and Gottesman usually played a lot of golf, and they'd sit at the grill at the Omaha Country Club drinking pitchers of iced tea, talking stocks, and kidding around. But although they liked the same kind of stocks, the three had never partnered on a deal. This time, Gottesman called Buffett and told him the part about Hochschild-Kohn's discount price and the Kohns' parsimony, and Buffett got hooked. He owned no other retailing stock besides a little F. W. Woolworth. Department stores rose and fell on fashion and customer tastes; he knew as much about that as how to bake a soufflé.

He wanted Munger, to tap into his incisive way of sizing up businesses. The two of them flew into Baltimore, and liked the Kohns immediately. They were the soul of integrity, reliable people with connections all over town.[7] After the episodes with Lee Dimon at Dempster and Seabury Stanton at Berkshire, Buffett knew that if he were to buy a company, he needed a manager he could count on to run the business for him. He felt that Louis Kohn was that man. Kohn had a financial background and understood the numbers and profit margins well. Buffett had become confident of his ability to assess people quickly after experience with bringing in three hundred partners and meeting countless business executives over the years. The two men looked at the balance sheet and made a $12 million bid on the spot.

Munger did the negotiating with Louis Kohn's relative Martin, the outgoing CEO, whom he considered "this wonderful old guy who headed the place." He told Martin Kohn, "I came in here and I saw a lot of old women with swollen ankles standing behind your perfume counter, with unfunded pension liabilities. Do you really want to sell this business, which is the work of your life, to somebody who might worry you about their pensions? Don't you want to take care of your own?"[8] Kohn tossed the towel into Munger's lap so fast that Charlie could barely catch it.[9]

On January 30, 1966, Buffett, Munger, and Gottesman formed a holding company, Diversified Retailing Company, Inc., to "acquire diversified businesses, especially in the retail field."[10] Buffett owned eighty percent of DRC. Gottesman and Munger each took ten percent. Buffett and Munger then went to the Maryland National Bank and asked for a loan to make the purchase. The lending officer looked at them goggle-eyed and exclaimed, *"Six million dollars for little old Hochschild-Kohn?"*[11] Even after hearing this, Buffett and Munger—characteristically—did not question their own judgment and run screaming out the door.

"We thought we were buying a second-class department store at a third-class price" is how Buffett describes little old Hochschild-Kohn.

He had never borrowed any significant money to buy a company. But they figured the margin of safety reduced their risk, and interest rates were cheap at the time. Profits in department stores were thin, but as those profits grew over the years, the interest on the debt would stay the same and any increase in the profits would flow to themselves. *If* the profits grew over the years.

"Buying Hochschild-Kohn was like the story of a man who buys a yacht," says Munger. "The two happy days are the day he buys it and the day he sells it."[12]

Louis Kohn and Sandy Gottesman flew out to Laguna Beach, where the Buffetts were renting a house, and holed up in a nearby motel. Buffett strategized with Kohn and Gottesman. He was already becoming fond of Louis Kohn. *"He was as high-grade a guy that you could ever imagine, had an IQ way up there, very decent guy, and he came into the partnership when we bought Hochschild-Kohn. I loved the guy."* The Kohns were another couple for him and Susie to socialize with—meaning that he and Kohn could talk business while Susie entertained Kohn's wife. The Buffetts' social life by now included a significant number of people who lived outside of Omaha, people they usually saw on one of Warren's business trips or, as now, when friends visited the Buffetts in California.

But Buffett began to grow concerned on his next trip to Baltimore, when Kohn showed him a plan the

company had been developing for some time to build two new stores, one in York, Pennsylvania, the other in Maryland. The idea was to capitalize on the exodus from city to suburb that was sending people to suburban shopping malls.

"They'd been planning those two stores for a couple of years. The guy that had the men's furnishings department had his section laid out. He knew exactly how he was going to decorate it. The woman who ran the high-priced dress department had hers all planned too." Buffett didn't like confrontation and dreaded disappointing people, but he and Charlie agreed that neither of these locations made sense. He spiked the York store and the Hochschild-Kohn employees and management resisted. Lacking the stomach for a fight, Warren gave in. But he drew the line at the Columbia, Maryland, store. *"I ended up killing that. And everybody died. They just died."*

Then more signs of trouble arrived in the form of numbers coming from Baltimore, revealing that every time one of the four department stores downtown put in an elevator, the other three had to do the same. Every time one store upgraded its window displays or bought new cash-register systems, the others had to follow suit. Buffett and Munger came to call this "standing on tiptoe at a parade." Once anybody did it, everybody had to do it.[13]

Still, for the first time, Buffett and Munger had found something they could partner on. Through Diversified Retailing, they and Gottesman had, in effect, created a separate company specifically to own retailers. But Hochschild-Kohn was the beginning of a pattern that would recur more than once in frothy markets: Buffett had lowered his standards to justify an investment. That he had done it at a time when he was having more and more trouble finding what he considered to be good investments in the stock market was no coincidence.

In this case, "We were enough influenced by the Graham ethos," says Munger, "that we thought if you just got enough assets for your dollars, somehow you could make it work out. And we didn't weigh heavily enough the intense competition between four different department stores in Baltimore at a time when department stores no longer had an automatic edge."

Within the first couple of years at Hochschild-Kohn, Buffett had figured out that the essential skill in retailing was merchandising, not finance. He and his partners also had learned enough about retailing to understand that it was a lot like the restaurant business: a wearying marathon in which, every mile, fresh, aggressive competition could leap in and race ahead of you. When the three had the opportunity to acquire another retailer through DRC—this one very different and run by a true merchandiser—they went ahead, however. This retailer came to them through Will Felstiner, the lawyer who had also worked on the Hochschild-Kohn deal, who called to say, "If you're interested in retailing, here's the numbers on Associated Cotton Shops." The Cotton Shops sold women's dresses. Here Buffett was headed even further afield from his basic "circle of competence," although this next episode would bring into his fold one of the all-time greatest managers and characters he would ever meet in his life.

"A cheap little scroungey" is how Munger described Associated Retail Stores, the parent of the Cotton Shops.[14] Seeing a set of third-class stores for a fourth-class price, he and Buffett were immediately interested. Associated owned eighty stores with $44 million of sales and earned a couple of million dollars a year. Benjamin Rosner, its sixty-three-year-old proprietor, ran discount dress shops, in tough neighborhoods in cities such as Chicago, Buffalo, New York, and Gary, Indiana, under names like Fashion Outlet, Gaytime, and York. Sometimes he installed several tiny stores carrying the same goods under different names on the same city block. They ranged in size from that of a modest New York City apartment to a well-appointed suburban house. Rosner kept the overhead microscopic and sold only for cash. Running these outlets required unusual skills. In Chicago, a manager at the Milwaukee Avenue store, a big, hard-boiled woman, *"blew a whistle every time she saw somebody come in that she knew was a shoplifter type. All the employees would look over and watch the guy from then on. She knew them all and had the lowest 'shrinkage' rate of practically any store you could ever find in the toughest neighborhood you could imagine."*[*23]

Born in 1904 to Austro-Hungarian immigrants, Ben Rosner dropped out of school in the fourth grade. In 1931, the downdraft of the Great Depression, he started with one little store on the North Side of Chicago,

$3,200 in capital, a partner, Leo Simon, and a batch of dresses they sold for $2.88 apiece.[15] When Simon died in the mid-1960s, more than three decades later, Rosner continued to pay his widow, Aye Simon[†24] (daughter of communications mogul Moses Annenberg), Leo's salary in exchange for the nominal task of signing the rent checks for their eighty stores.

"This went on for about six months, and then she started complaining and second-guessing and criticizing. And that really got to Ben. She was a spoiled, spoiled, spoiled woman. Now, Ben was a guy whose principle, as he later explained to me, was to screw everybody except his partner. And in his mind, she's no longer his partner. So he decided that he had to end this whole thing.

"So as the switch flips in his mind, he's going to screw her. He decided that he was going to sell the business to me too cheap, even though he owns half of it, because it'll show her. When we met with him, he started talking and I got the picture very quickly."

Buffett had been there before with people who were talking themselves into thinking they were better off without something, and he knew not to do anything that would interfere. *"He's talking about selling his business that he's built up all his life, and he's going crazy because he can't stand it and he can't stand her. He's just a total mess. So Charlie goes back in the room with me. And after about half an hour, Ben was jumping up and down, and he said, 'They told me you were the fastest gun in the West! Draw!' And I said, 'I'll draw on you before I leave this afternoon.'"*

Buffett needed a manager, but Rosner told him that he would stay only until the end of the year, then turn the business over to the new owners. Buffett could see, however, that, just as the business couldn't carry on without Rosner, fortunately, Rosner couldn't carry on without the business.

"He loved it too much to quit. He kept a duplicate set of store records in the bathroom so that he could look at them while he was sitting on the can. He had this rival, Milton Petrie of Petrie Stores. One time, Ben went to a big bash at the Waldorf. Milton's there. They immediately started talking business. Ben said, 'How much do you pay for lightbulbs? How much do you mark up…?' And that's all Ben could talk about. Finally, he said to Milton, 'How much are you paying for toilet paper?' And Milton said so much. Ben was buying his quite a bit cheaper, and he knew that you want to be not just cheaper but right. Milton said, 'Yeah, that's the best I can get.' And Ben said, 'Excuse me,' and he got up, left the black-tie benefit, drove out to his warehouse in Long Island, and started tearing open cartons of toilet paper and counting the sheets, because he was suspicious. He knew that Milton could not be paying too much by that wide a margin, and therefore that he must be getting screwed himself somehow on toilet paper.

"And, sure enough, the vendors were saying there were five hundred sheets per roll in one of these things. And there weren't. He <u>was</u> getting screwed on toilet paper."

Buffett knew that he wanted to be in business with the kind of guy who would leave a black-tie party to count sheets of toilet paper; a guy who might screw the guy across the table but never his own partner. He made a deal with Rosner for $6 million. To make sure that Rosner would stay on the job after he bought the business, he flattered Rosner, made certain he got the numbers to evaluate its performance, and otherwise left him alone.[16]

Buffett felt at one with the Ben Rosners of the world—he saw in their relentlessness the spirit of success. He was sick of problem companies like Hochschild-Kohn and was looking for more Ben Rosners, people who had built excellent businesses that he could buy. He and Rosner shared a mutual obsession. As Buffett liked to put it, "Intensity is the price of excellence."

As late as 1967, Susie seemed to think that Warren would be more attentive to her and the family if he quit working. In her mind, the two of them had an understanding that they would scale back their lives once he made $8 or $10 million. His 1966 fees of $1.5 million and gains on his capital brought the family's net worth to over $9 million.[1] She badgered him that the time had come. But Warren's pace never slackened as he shifted his focus from one preoccupation to another: raising money for the partnerships, buying National American, Sanborn Map, Dempster, Berkshire Hathaway, Hochschild-Kohn, American Express, and any number of investments in between. Sometimes his back seized up when he got on a plane, and occasionally Susie had to nurse him for several days while he was bedridden with pain. His doctor couldn't find any specific cause, suggesting that work or stress might have something to do with it. But Warren was about as likely to stop working for the sake of his back as he was to fork down a big plate of broccoli for the sake of his health.

He was always sitting hunched over something, a book, the phone, a bridge or poker game with friends like Dick Holland and Nick Newman, a prominent businessman who owned Hinky Dinky, the same grocery chain from which Warren had slunk, humiliated, as a boy after his grandfather sent him to buy loaves of bread. Newman and his wife were active in the community and in civil-rights circles, and, like the low-key Hollands, they were typical of the Buffetts' friends. Warren and Susie stayed away from the Omaha social circuit. Their joint social life was evolving into a series of recurring events that followed the rhythm of Warren's work and often took place when they were traveling to see Warren's friends. In town, however, Susie stayed on call; she shuttled between her own friends, family, needy cases, and community work. A sign now hung on the Buffetts' unlocked back door that read: "The Doctor Is In." One or another of Susie's "patients" could often be found wandering around the house. Her clientele came from all different ages and stations in life, and some were more demanding than others. They asked and Susie gave, and when they asked for more, she gave more.

When Susie asked, Warren gave, and when Susie asked for more, Warren complied. Unyielding about how he spent his time, he gave in to her on almost everything else. This was the year they remodeled the house. Already the biggest on the block, under Susie's direction a new wing replaced the old garage, giving the neighborhood kids a place to gather in a new family room. Warren was excited at having his own racquetball court in the basement underneath—like Ping-Pong on a human-size scale—where he took his friends and business colleagues to play.

But even though Warren was like a kid in many ways, and Susie wished he were a more attentive father, he was loyal and committed: He showed up at school events and took the children on vacations. And while 1967, the year of *White Rabbit* and *Sgt. Pepper's Lonely Hearts Club Band,* marked the apex of the rock-and-roll drug culture, with Susie Jr. in eighth grade, Howie in sixth, and Peter in third, the Buffetts were blessedly free of worries faced by many other parents.

Susie Jr. had developed from a timid child to a self-sufficient teen and the undisputed boss of her siblings. While her mother filled the house with ballads and soul music when she sang and played albums, Little Sooz had turned into a rock-and-roll girl; she introduced her brothers to groups like the Byrds and the Kinks. She was a straight kid, however, not sucked into the druggy element at school. Howie, now twelve, was still young enough to try to scare his sister and her friends by looming from the crabapple tree outside her window in a gorilla costume. But his pranks were getting more sophisticated, and more dangerous. He put Scout the dog on the roof, went downstairs, and called him to see if he would come. Scout did, and wound up at the vet with a broken leg. "Well, I just wanted to see if he would come," Howie protested.[2] To foil his mother from periodically locking him in his room out of frustration, he bought a lock at a hardware store and started locking *her* out. Peter spent hours at the piano, playing by himself or with his friend Lars Erickson. He was winning talent shows and seemed as absorbed in his music as his father was in making money.

The one person in the family who was seduced by the dark side of the psychedelic sixties was seventeen-year-old Billy Rogers, son of Susie's sister, Dottie, now a budding jazz guitarist who was experimenting with drugs. His mother did some volunteer work and was an expert seamstress, but she also slept until noon, seemed paralyzed by making decisions, and at times was so distant and vague that it was literally impossible to carry on a coherent conversation with her. Dottie was drinking more and not paying attention to her kids. Susie often took Billy to watch Calvin Keys, a local jazz guitar player—so that Billy could learn technique from him, but also to try to straighten Billy out.[3]

She faced a daunting task in an era when the drug culture of pot and LSD was ubiquitous and Timothy Leary invited America to "Turn on, tune in, drop out." The youth-led counterculture was rebelling against all forms of authority, everything for which the prior decades had stood. "This ain't Eisenhower's America no more," said one of the hundred thousand hippies milling about San Francisco's Haight-Ashbury that summer, as if that were explanation enough.[4]

Warren still lived in Eisenhower's America. He had never suffered from Beatlemania. He wasn't singing "Kumbaya" or putting up posters saying that war was unhealthy for children and other living things. His state of consciousness remained unaltered. His mind was deep in rigorous philosophical inquiry, torn between the cigar-butt philosophy of Ben Graham and the "great businesses" of Phil Fisher and Charlie Munger.

"I was in this Charlie Munger–influenced type transition—sort of back and forth. It was kind of like during the Protestant Reformation. And I would listen to Martin Luther one day and the Pope the next. Ben Graham, of course, being the Pope."

While Munger was nailing his theses on the door of the Cigar Butt Cathedral, the market itself had abandoned all authorities past and present; as the 1960s progressed, chatter about stocks enlivened cocktail parties, and housewives called their brokers from the beauty parlor. Trading volumes were up by one-third.[5] Buffett, at thirty-six, felt like a grizzled old man in a world that craved Transitron, Polaroid, Xerox, Electronic Data Systems—companies whose technology he did not understand. He told his partners that he was slowing down. "We simply don't have that many good ideas," he wrote.[6]

Yet he did not relax his rules in search of ways to keep the money at work. Instead, he laid out two new restrictions that would make it even harder for him to invest. These personal preferences now became part of the official canon.

1. We will not go into businesses where technology which is way over my head is crucial to the investment decision. I know about as much about semiconductors or integrated circuits as I do of the mating habits of the chrzaszcz.

2. [W]e will not seek out activity in investment operations, even if offering splendid profit expectations, where major human problems appear to have a substantial chance of developing.

By "major human problems" he meant layoffs, plant closings—and union businesses that couldn't take a strike. This also meant he would think once, twice, three times, before smoking any more cigar butts.

The cigar butts he owned were problem enough. Berkshire Hathaway was now "on life support." Buffett had recently hired his Peat, Marwick auditor, Verne McKenzie, and sent him off to New Bedford to oversee the wretched textile mill. He had been regretting a mistake he had made at a recent Berkshire Hathaway board meeting. Feeling flush during what would turn out to be a brief moment of financial success—"we were selling out of rayon linings for a few months and making a lot of money"[7]—Buffett had let himself get talked into a ten-cent-per-share dividend. The firm's lawyers had argued that Berkshire was doing so well that it might be accused of unjustifiably retaining earnings. Either while daydreaming or simply in a moment of weakness, Buffett went along with the distribution; a dime a share sounded measly; it somehow took him twenty-four hours to realize the fallacy of their argument. By then it was too late and his uncharacteristic agreeableness had showered on the partners and shareholders $101,733 that he knew he could have turned

into millions someday.[8] He would never make a mistake like that again.

Eight months later, Buffett offered the Berkshire shareholders a swap. Anyone who wanted an income-producing security could have a 7[1]/2 percent debenture in exchange for stock. A total of 32,000 shares were turned in. With this move Buffett washed out of the mix a group of shareholders who wanted income, ensuring that the rest were more likely to care about growth instead of dividends. "It was brilliant," says Verne McKenzie.[9] And, of course, with fewer shares outstanding, he was able to tighten his grip on Berkshire that much more—curiously, even as the magnitude of his original error in buying the place was clearer. Ken Chace stoically followed Buffett's orders to shrink the business. Rather than precipitate a hateful backlash like that at Dempster, Buffett listened to Chace's recommendations that the unions be treated well, and decided to tolerate losses to keep some remnant of the company operational and New Bedford content.

By 1967 Chace and McKenzie had managed to pull the hapless maker of men's suit linings back to breakeven. But the term "inflation"—moribund since the Second World War—was again on everyone's lips. The costs of wages and raw materials were rising like silt in a river, and both foreign and southern textile mills with cheaper labor were drying up Berkshire's sales.

Buffett gave the news to his partners: *"B-H is experiencing and faces real difficulties in the textile business. While I don't presently foresee any loss in underlying values, I similarly see no prospect of a good return on the assets employed in the textile business. Therefore, this segment of our portfolio will be a substantial drag on our relative performance…if the Dow continues to advance."*[10]

He tried to pull money out of the textile business as fast as possible. He became intimately involved in the most ordinary decisions of the mills, on the phone almost daily with Chace and McKenzie.[11] Chace had had to shut down the Box Loom division for a week back in October 1966 because of competition from imports; less than six months later Buffett told him to permanently shut down the King Philip D division in Rhode Island, which made fine lawn cotton, about one-tenth of Berkshire's output. The loss of 450 jobs marked the end of Rhode Island's cotton industry.[12] *"The tide continues to be far more important than the swimmers"* was the bottom line, as Buffett saw it.[13]

It wasn't enough. As the numbers came in, Buffett realized that the Apparel Fabrics and Box Loom divisions were losing so much money that the only way to salvage them was to modernize the equipment. But throwing good money after bad had been Seabury Stanton's mistake. Buffett refused to invest in the business; it would be like trying to irrigate the desert with a garden hose. Still, closing the plants down would throw hundreds of people out of work. He sat behind his desk and swiveled his chair and thought about it, then thought about it some more.

The irony was that the partnership was swimming in a sea of money.[14] And on Wall Street, brokers in pinstripes were getting high on cash. A new breed of men, who had come of age after World War II without the lessons of the Crash and the Great Depression seared into their brains, had risen on the Street. As they pushed stocks to never-before-seen values, Buffett began selling down his American Express position, which by now was worth $15 million more than the $13 million that it had cost, accounting for two-thirds of the partnership's gain. But he didn't want to plow that money back into Berkshire Hathaway.

Rather, his most important task that year was to find something new to which he could hitch the broken-down nag of Berkshire before its "substantial drag" on his performance became intolerable. In Omaha, he had long had his eye on a company, National Indemnity, headquartered just a few blocks away from his Kiewit Plaza office. Buffett first met its founder, Jack Ringwalt, in the early 1950s, in the boardroom at the broker Cruttenden and Company. Ringwalt was one of the smartest, most enterprising men in town. Then Warren's aunt Alice had tried to steer Ringwalt into the Buffett Partnership.[15] Ringwalt later claimed that Buffett had demanded a minimum investment of $50,000 (though Buffett was taking far less than that from nearly everyone at the time). "If you think I am going to let a punk kid like you handle $50,000 of my money, you are even nuttier than I think you are," Ringwalt supposedly replied, and declined to invest. Ringwalt considered himself an investing expert, however, and Buffett's penchant for secrecy put many

people off.[16]

Buffett kept an eye on National Indemnity nonetheless. A nonstop learning machine, he wanted to know everything there was to know about the insurance business. He checked out armloads of books from the library and came to understand Ringwalt's strategy, which was to insure the most difficult customers. Ringwalt, Buffett saw, was the mix-up player of insurance—the cautious risk-taker and the penny-pinching, aggressive underwriter who went around the office every night and turned off all the lights.[17] For a fancy price, he insured the unusual: circus performers, lion tamers, the body parts of burlesque stars.[18] "There's no such thing as a bad risk," Ringwalt liked to say, "only bad rates." His first break had come when a bank asked him to guarantee that a bootlegger—presumed murdered—would not return to Omaha, because the presumptive widow wanted to withdraw his account without waiting the legally required seven years. Ringwalt figured the alleged murderer's lawyer might have a pretty good idea whether the missing bootlegger's blood no longer pulsed. He had helped the accused murderer beat the rap, but the dead man's widow (and the bank) suspected that was mainly just good lawyering, not exoneration. Still, the lawyer couldn't *say* whether his client had confessed to him. So Ringwalt got him to put up some of his own money on the guarantee, on the theory that unless the bootlegger had croaked louder than a bullfrog, the lawyer wouldn't take the risk. Sure enough, the cash told all; the bootlegger never reappeared, and the bank never made a claim. Jack Ringwalt was enterprising, and a natural handicapper.

From there, he expanded into insuring taxicabs, then he put up the stakes for radio-station treasure hunts, hiding the clues in lipstick cases, burying them himself, using clues so obscure that only one prize was ever claimed. He soon became the fastest-moving, most swashbuckling, energetic businessman in Omaha. His daughter referred to him by the racy-sounding nickname Jet Jack. He managed National Indemnity's investments himself, buying tiny positions in hundreds of stocks, scribbled almost illegibly on ledger sheets: fifty shares of National Distillers, 2,500 of Shaver Food Marts. He carried around hundreds of stock certificates in an old gym bag.

In the early 1960s, Buffett had called his friend Charlie Heider, who was on the board of National Indemnity, and asked whether Ringwalt had any interest in selling. Heider's answer was intriguing.

"For fifteen minutes every year, Jack would want to sell National Indemnity. Something would make him mad. Some claim would come in that irritated him, or something of that sort. So Charlie Heider and I discussed this phenomenon of Jack being in heat once a year for fifteen minutes. And I told him if he ever caught him in this particular phase to let me know."

One gray and gloomy February Omaha day in 1967, Heider was having lunch with Ringwalt, who said, "I don't like this weather." The conversation wound around to the fact that he wanted to sell National Indemnity. Ringwalt had convinced himself he was better off without it; the fifteen-minute window had appeared. "There's somebody here in town who might want to buy it," Heider said. "Warren Buffett." Ringwalt allowed as how he might be interested. Heider called Buffett afterward and told him that Jack Ringwalt would possibly sell the company for so many million. "Do you care to meet with him in the coming days?"

"What about this afternoon?" Buffett said immediately. Ringwalt was leaving for Florida the next morning, but Heider convinced him to go down to Kiewit Plaza first.[19]

Buffett asked Ringwalt to explain why he hadn't sold to anyone yet. Ringwalt said that all the offers came from crooks. He started laying down conditions. He said he wanted to keep the company in Omaha. Sensing that the fifteen-minute window was about to disappear, Buffett agreed he wouldn't move the company.

Ringwalt said he didn't want any employees fired. Buffett said that was okay. Ringwalt said all the other offers had been too low. "How much do you want?" Buffett asked. Fifty dollars a share, said Ringwalt, fifteen dollars more than Warren thought it was worth. "I'll take it," Buffett said.

"So we made a deal in that fifteen-minute zone. Then, Jack, having made the deal, really didn't want to do

it. But he was an honest guy and wouldn't back out of a deal. However, he said to me after we'd shaken hands, 'Well, I suppose you'll want audited financial statements.' And if I'd have said yes, he would've said, 'Well, that's too bad, then, we don't have a deal.' So I just responded, 'I wouldn't dream of looking at audited financial statements—they're the worst kind.' Then Jack said to me, 'I suppose you'll want me to sell my insurance agencies to you as well.'"

It would have been natural for Buffett to want the agencies. They controlled relationships with some of the customers who did business with National Indemnity. *"I just said, 'Jack, I wouldn't buy those agencies under any circumstances.' If I'd said yes, that I wanted him to sell the agencies to Berkshire—he would've said, 'Well, I can't do that, Warren. We must've misunderstood each other.'*

"So we went through about three or four iterations like this. And finally Jack gave up and sold me the business, though I don't think he really wanted to do it."

Buffett wanted him to do it, because Berkshire Hathaway was a lousy business that he had partially liquidated, and this was his chance to swap those funds for a great business. Since he knew that Ringwalt would be having second thoughts while away in Florida, he moved fast to seal the deal before Ringwalt could change his mind. Both men wanted a contract no more than one page long.[20] Buffett had final papers drawn up quickly and the funds deposited in the U.S. National Bank.[21]

When Ringwalt returned from Florida a week later, Buffett freight-trained him with a deal ready to close. But Ringwalt showed up to the closing meeting ten minutes late. Buffett and Heider would later explain this by saying that Ringwalt was driving around the block looking for a parking meter with time left on it.[22] Ringwalt always said he was just late. But maybe he'd realized he wasn't actually better off without it, and was dragging his feet, sorry at having bowwowed himself into thinking he was better off without National Indemnity.

Buffett, of course, knew full well that the partnership was better off *with* it; National Indemnity was the chance to give his fortunes a gigantic push. A short time later, he wrote a paper on the subject under the dull title "Thoughts Regarding Capital Requirements for Insurance Companies."

The word "capital"—money—was an important hint at what Buffett was thinking when he acquired National Indemnity, for capital was his partnership's lifeblood. He was pulling capital from Berkshire and it needed to be put to work. National Indemnity took a lot of risk and needed gobs of capital to do so. "By most standards," he wrote, "National Indemnity is pushing its capital quite hard. It is the availability of additional resources in Berkshire Hathaway that enables us to follow the policy of aggressively using our capital which, on a long-range basis, should result in the greatest profitability within National Indemnity…. Berkshire Hathaway could put additional capital into National Indemnity, should underwriting turn sour."[23]

Buffett had figured out a whole new type of business. If National Indemnity made money, he could send those profits out to buy other businesses and stocks, instead of leaving them to hibernate in National Indemnity's vault. But if the lion ate the lion tamer, National Indemnity might need money to pay the lion tamer's weeping family. Then the money could come back home to National Insurance from the other businesses.

Grafting the insurance business onto Berkshire Hathaway, the mess of a textile mill, made its capital homeostatic. It could respond internally to the environment at Buffett's command, rather than hibernating like a lizard when it got cold or running out when the sun shone to find a rock on which to sun itself.

The key was to price the risks right. Thus he needed Jack Ringwalt, who had talked himself into selling his own business, to stick around. Buffett paid Ringwalt handsomely and cultivated him as a friend; and as with Ben Rosner and Associated Cotton Shops, he had bought an excellent business run by an able manager.

The two men often played tennis in California. Ringwalt, whose taste in clothes resembled Buffett's, would show up in a grimy old sweatshirt that his daughter had made for him. His racy nickname, Jet Jack, stretched

in huge letters over his bay window of a gut. Once when he and Buffett were having lunch at a Jolly Roger restaurant, a little kid came up to him. "Can I have your autograph, Jet Jack?" he asked. Ringwalt swelled with pride. The kid thought he was a celebrity: an astronaut or a movie star. He may not have looked the part except to a little kid, but in his heart, he still felt like Jet Jack.

And rightly so, because the swashbuckle came from inside, not from the way he looked. Ringwalt may have sold his company, but he had gotten back a bit of his own—for what he did with some of the money he got from selling National Indemnity was to buy stock in Berkshire Hathaway.[24]

31

The Scaffold Sways the Future

Omaha • 1967–1968

The greatest wave of riots, lootings, and burnings since the Civil War swept the country during the summer of 1967. Afterward, Dr. Martin Luther King said, "Many more riots of the kind we had last summer and we shall be in danger of a right-wing takeover of the fascist type!"[1] Privately angry at the movement's lack of progress, King still refused to endorse violent resistance; some activists felt that the Student Nonviolent Coordinating Committee and Dr. King's Southern Christian Leadership Conference should have mounted a much more confrontational response to the ugly force of nightsticks and cross burnings they faced that summer.

Omaha's nonviolent activists counted the Buffetts—both of whom were now influential in town—among their informal network. Rackie Newman, the wife of Warren's best friend in Omaha, Nick Newman, was working with Susie to pressure the YMCA and the boards of other organizations to give a fairer share of money to their branches in impoverished areas. Through the United Methodist Community Center, run by an African-American friend, Rodney Wead,[2] Susie and Rackie sent black kids to summer camp and set up an interracial dialogue group for local high school students.[3] Wead had become a frequent presence in the Buffett house. John Harding, who ran Buffett's back office, collected thousands of signatures for an open-housing petition. Nick Newman helped bring Warren directly into the struggle by sponsoring his participation in various local civil-rights groups. Warren's role was not to labor, but to speak. He, Newman, and Harding testified before the legislature in Lincoln on open housing. For her part, Susie went out and at least a few times actually bought houses, fronting for blacks who wanted to move into white neighborhoods.[4]

Recently, Warren had been introduced to Joe Rosenfield, who ran the Younkers chain of department stores based in nearby Des Moines.[5] Rosenfield was well connected in both local and national politics and shared the Buffetts' political views. He was also a trustee of Grinnell College, which sat like a tiny radical island in the middle of the farming hamlet of Grinnell, Iowa.[6] Its liberal-minded students tended to go into social services after graduation, and the school was focusing its funding on increasing its African-American enrollment.

Eighty-some years after its founding in 1846, Grinnell had nearly gone broke, but in the quarter century since Rosenfield had taken over the endowment, he had built it to nearly $10 million.[7] He had a keen wit, as well as an edge of sadness about him, having lost his only son in a tragic accident; Susie Buffett quickly developed a special relationship with him. Given all their shared interests, Rosenfield naturally wanted to involve the Buffetts with Grinnell, his most important cause.

In October 1967, the college was presenting a three-day fund-raising convocation on "the liberal arts college

in a world of change" and had assembled a brilliant panoply of 1960s culture in its speakers' roster —including author Ralph Ellison, whose novel *Invisible Man* had won a National Book Award; social biologist Ashley Montagu, who had questioned the validity of race as a biological concept; communications theorist Marshall McLuhan, who had popularized the idea of a media-driven "global village" contemporary artist Robert Rauschenberg; and Fred Friendly, the retired former president of CBS News. But the speaker they were all waiting for was Dr. Martin Luther King Jr.[8] Nobel Peace Prize winners were not everyday visitors to Iowa. Rosenfield had invited the Buffetts to the convocation; they were among the five thousand people who packed themselves into Darby Gymnasium for that Sunday morning's program.

King flew in with the president of Morehouse College, who was going to introduce him. They were hours late; state troopers, deputies, police, and private security guards had been standing on alert since before ten a.m., ready for trouble. As they waited, the audience grew hungry and restless.

Finally King strode to the podium, dressed in his preacher's robes. He had chosen the theme of "Remaining Awake During a Revolution," and his resonant voice rang out with a quote from poet James Russell Lowell's "The Present Crisis," the anthem of the civil-rights movement.

Truth forever on the scaffold,
Wrong forever on the throne:
Yet that scaffold sways the future,
And behind the dim unknown,
Standeth God within the shadow
Keeping watch above His own.[9]

He spoke of the meaning of suffering. Inspired to nonviolent resistance by Gandhi, King invoked the lessons of the Sermon on the Mount. Blessed are the persecuted, it said, for theirs is the kingdom of heaven. Blessed are the meek, for they shall inherit the earth.

As touched as she was by Dr. King's powerful words, Susie must also have been deeply moved by the way he transfixed her husband.[10] Buffett had always responded to powerful, charismatic orators. Now he saw King standing before him: moral courage in the flesh, a man who had been beaten and imprisoned, put in shackles and sentenced to hard labor, stabbed and clubbed for his beliefs, a man who had carried a movement on the strength of his ideas for nearly a decade despite enraged opposition, violence, and limited success. King had once described the power of nonviolence, which "has a way of disarming the opponent. It exposes his moral defenses. It weakens his morale and at the same time it works on his conscience…. Even if he tries to kill you, you develop the inner conviction that some things are so precious, that there are some things so dear, some things so eternally worthful, that they are worth dying for. If an individual has not discovered something that he will die for, he isn't fit to live. When one discovers this, there is power in this method."[11]

King was a prophet, a man who saw a vision of glory, of evil exposed through visible suffering, of people roused from sleep by the sight of horrors. He called his followers to nail themselves to his vision, to lift it up behind them and drag it through the streets. Christianity, he said, has always insisted that the cross we bear precedes the crown we wear. One of his lines, which he repeated in many of his speeches, struck Buffett's heart and pierced his reason.[12]

"The laws are not to change the heart," he said, "but to restrain the heartless."

"With that great voice of his, he just rumbled that out, and then went on and used that as a theme."

* * *

Susie had often told her husband that there was more to life than sitting in a room making money. That October 1967, in the throes of the civil-rights struggle, he had written a special letter to the partners, which

showed that something in his thoughts had changed. This letter went out a little earlier than the annual report he wrote to the partners each year, and it laid out his strategy without revealing the year's pending results. After describing the *"hyper-reactive pattern of market behavior against which my analytical techniques have limited value,"* he went on to say: *"My own personal interests dictate a less compulsive approach to superior investment results than when I was younger and leaner…. I am out of step with present conditions. On one point, however, I am clear. I will not abandon a previous approach whose logic I understand (although I find it difficult to apply) even though it may mean forgoing large, and apparently easy, profits to embrace an approach which I don't fully understand, have not practiced successfully, and which, possibly, could lead to substantial permanent loss of capital."*

He also brought up another reason for this "less compulsive approach": Personal goals, he said, had begun to intrude: *"I would like to have an economic goal which allows for considerable noneconomic activity…. I am likely to limit myself to things which are reasonably easy, safe, profitable, and pleasant."*

Buffett then stunned his partners by dropping his stated goal of beating the market by *ten* points a year to beating it by just *five* points a year—or to earning nine percent, whichever was *less*. If they could find better results elsewhere, he said, they should go, and he wouldn't blame them.

He knew that this was taking a risk. Some of the hot new mutual funds were doing much better than the partnership, doubling their money in a year. Each January, the partners could add money to the partnership—or take it out. Many other skippers were forecasting sunnier skies.

Yet his timing in announcing that he was cutting the goal worked in his favor. The Dow produced an unusually poor year in 1966.[13] Some of the partners, shaken by the market's roiling, had advised him to sell stocks. He paid attention neither to the market nor to advice, and the partnership beat the Dow by thirty-six points, the best record in its ten-year history. *"If you can't join 'em, lick 'em,"* he wrote.[14] So, it was not a bad time to be offering his partners the chance to take their money elsewhere.

One side effect of this strategy would be to test their trust in him. They would be making their decision without knowing the actual results of his latest year—and for 1967 he was about to report his second stellar year in a row. If they stayed in, it would be because of that trust and because they were willing to accept his more modest goal. Beating the market by five points a year, compounded over any long-term period, would produce stupendous wealth.[*25] Even Ben Graham had beaten the market by just 2.5 percent a year. Buffett's revised goal of nine percent put a floor on their results that was still two percent or more better than owning an average bond. That consistency, year after year, *and not losing* money, would lead to a stunning result. Sticking with him, an investor took only a modicum of risk, could achieve these extraordinary returns, and do so *safely*. Nevertheless, by lowering his target, Buffett had just taken his partners down a peg psychologically, and the results reflected that.

For the first time, instead of investors rushing to put more money into the partnership, they pulled out a net $1.6 million of capital in January 1968. Yet it was a fraction of what might have been. Less than one in thirty dollars had gone elsewhere. And when he reported his 1967 results a few weeks later, Buffett Partnership, Ltd. had advanced thirty-six percent—versus the nineteen percent rise in the Dow. Thus, in two years, a dollar in Buffett's stewardship grew more than sixty cents, while a dollar in the Dow was still a measly dollar.

He wished the departing partners Godspeed with what might be perceived as the subtlest trace of irony: *"This makes good sense for them, since most of them have the ability and motivation to surpass our objectives and I am relieved from pushing for results that I probably can't attain under present conditions."*[15]

"Financial genius is a rising market," as Kenneth Galbraith would later say.[16]

Now Buffett had more time to pursue the personal interests he had spoken about, and less pressure—at least in theory. After King's speech, Rosenfield easily recruited Buffett to become a Grinnell trustee. Given Buffett's dislike of committees and meetings, this signified how much he had been touched by the convocation—as well as how close he had grown to Rosenfield. Naturally, he went straight onto the finance

committee, where he found the trustees to be a group of like-minded men. Bob Noyce, who ran a company called Fairchild Semiconductor, which made electronic circuits—something about which Buffett knew little and had even less interest—was chairman. Noyce, a former Grinnell graduate who had once been expelled from school for stealing a pig to roast at a luau—a serious offense in a pig-farming state—had the aura of a man who knew what he was about.[17] Yet *"he was really a regular guy. He didn't seem like a scientist at all,"* says Buffett. Above all, Noyce had an overarching hatred of hierarchy and a love of the underdog, in keeping with the guiding spirit of Grinnell.

Buffett seemed to feel a sense of urgency to do something more for civil rights too. He felt he could best serve the cause by using his brains and financial savvy behind the scenes. Rosenfield began to introduce Buffett around the Democratic Party power network. Buffett started to get involved with Iowa's Democratic Senator Harold Hughes and with Gene Glenn, who was running for the Senate.

Then, in March 1968, the most controversial man in America, former Alabama Governor George Wallace, arrived at the Omaha City Auditorium to campaign for President.[18]

More than five thousand people crammed into a room designed to seat 1,400 to see the man who had run for governor seven years before on the platform "Segregation now, segregation tomorrow, segregation forever."[19] It took less than eight minutes for his supporters to collect the signatures to place him on the Nebraska ballot. The odor of stink bombs filled the air. When Wallace began to speak, demonstrators pelted the platform with sticks, bits of placards, paper drinking cups, and stones.[20] Chairs flew, nightsticks cracked, blood splattered, and the police sprayed the crowd with Mace. As the melee spilled out along 16th Street, rioters pulled drivers out of cars and beat them. People started throwing Molotov cocktails, flames raced through the neighborhood, sidewalks filled with broken glass, and looters pawed through the stores. Hours later the violence passed, and calm finally began to descend. Then an off-duty policeman shot and killed a sixteen-year-old black boy inside a pawnshop, mistaking him for a looter.[21]

Over the next few days, high school students walked out of class, smashing windows and setting fires.[22] A few days later, police and snipers armed with automatic weapons traded shots and arrested several people, including members of the Omaha Black Panthers.[23]

The racial violence continued all that summer, even as Susie never stopped going to the North Side. She trusted in her excellent relations with the community and discounted the personal danger; Warren was not always aware of the details of what she was doing but did feel that at times she went too far in putting others' interests before her own. His own horror of violence and fear of mob rule had roots that went back a generation.

Howard Buffett had recounted over and over to his children a scene he had witnessed when he was sixteen years old—a day when thousands of people converged on the Douglas County Courthouse, broke in and attempted to lynch the mayor of Omaha, and beat, castrated, and lynched an elderly black man who had been accused of rape. Afterward they dragged his body through the streets, shot bullets into it, lynched it again, and set it afire. The Courthouse Riot became the most shameful episode in Omaha's history. Howard missed seeing much of the violence, but witnessed the lynch mob turning a streetlamp into an improvised scaffold, and the mayor of Omaha hanging by a noose around his neck before being rescued in the nick of time.[24] The memory haunted him for the rest of his life.[25] He had seen with his own eyes the speed with which ordinary people, formed into a mob, could act out the lowest depths of human nature.

King's warning earlier that year about mass social unrest potentially leading to fascism required no explanation to Warren Buffett. His own commitment to siding with the underdog went beyond instinct and rested partly on this train of logic. Many people thought such a thing was inconceivable in the United States, but the seemingly impossible happened time and again. The law is not to change the heart, King said, but to restrain the heartless. And who are they, the heartless? That he did not say.

A few weeks later, King flew to Memphis to speak at the Masonic temple. He reflected on a woman who had

stabbed him in New York City and the persistent rumors that an assassin was waiting for him. “I don’t know what will happen now,” he told the audience. “We’ve got some difficult days ahead. But it really doesn’t matter with me now, because I’ve been to the mountaintop.” The next day, April 4, as he stood on the balcony of the Lorraine Motel preparing to lead a march of sanitation workers, he was fatally shot in the neck.[26]

Grief, rage, and frustration poured out of black communities across America, turning urban centers into fiery combat zones.

At this time, tens of thousands of students were demonstrating against the Vietnam War on college campuses. The Vietcong had launched the Tet Offensive, attacking a hundred South Vietnamese cities. Americans had been horrified by a photograph of a South Vietnamese police chief shooting a Vietcong guerrila in the head point-blank, an image that for the first time changed the Communists from an abstraction to human beings. The U.S. government had just eliminated most draft deferments, finally putting the sons of the upper middle class at risk of being drafted. Public sentiment turned decisively against the war. By the time King was shot, the country felt as though revolution could erupt at any moment.

In their various ways, many people decided they were fed up, and done with being put down. Buffett’s friend Nick Newman abruptly announced that he would no longer attend meetings at clubs that discriminated against Jews as members.[27] Warren, too, was moved to take action. Since his Graham-Newman days, he had broken away from the segregated 1950s culture and the anti-Semitism of his family’s elder generation to forge friendships and business connections with a wide circle of Jewish people. He even seemed to feel a sense of personal identification with Jews, some thought; their status as outsiders fit with his own sense of maladjustment and his alignment with the underdog. Some time before, Buffett had quietly resigned from the Rotary Club, repelled by the bigotry he saw as a member of its membership committee. But he never told anyone the reason. Now he made it his personal project to sponsor a Jew—his friend Herman Goldstein—for membership in the Omaha Club.

Since one of the rationales that institutions like the Omaha Club used to defend their exclusionary policies was that “they have their own clubs that don’t admit us,” Buffett decided to ask Nick Newman to nominate him for the all-Jewish Highland Country Club.[28] Some of its members objected, using the same logic employed by the Omaha Club: Why take in gentiles when we had to establish our club because their clubs wouldn’t have us?[29] But a couple of rabbis got involved and an Anti-Defamation League spokesman appeared on Buffett’s behalf.[30] Once accepted, Buffett quietly stormed the Omaha Club, armed with his Jewish country-club membership. Herman Goldstein was voted in, and the long-standing religious barrier to membership there finally toppled.

Buffett had devised a clever solution, a way to get the club to do the right thing without confronting anyone. It avoided the thing he dreaded, but it also reflected his reasoning—probably correct—that marching and demonstrations would not change the minds of well-off businessmen.

It also worked because he was now a well-known figure in Omaha. He was no longer an upstart; he had clout. The man who had once had to work to get off the blacklist of the Omaha Country Club had singlehandedly effected what was perhaps the most significant organizational change since its founding in one of Omaha’s most elite institutions.

Yet Buffett wanted to play more than just a local role. With his money, he knew he could have an impact at the national level, for 1968 was an election year, and it would take a lot of money to try to unseat an incumbent President—Lyndon Johnson—in favor of an antiwar candidate.

Vietnam was the central issue of the campaign, and Eugene McCarthy, the liberal Senator from Minnesota, was initially the only Democrat willing to run in the primaries against Johnson.

The campaign had started in New Hampshire, where a McCarthy “children’s crusade” against the war sent nearly ten thousand young activists and college students to knock on almost every door in the state in heavy

snow. He won forty-two percent of the New Hampshire vote, a strikingly strong showing against an incumbent President. Many students, blue-collar workers, and antiwar voters considered McCarthy a hero. Buffett became treasurer of his Nebraska campaign, and he and Susie attended a campaign event, she smiling broadly in an eye-catching dress and mob cap that she had had made out of fabric striped with McCarthy's name.

Then Johnson announced that he would not run again and John F. Kennedy's brother Robert Kennedy entered the race. He and McCarthy raced through a bitter primary battle in which there was no clear front-runner until Kennedy won the California primary, giving him a decisive lead in delegates. But on the night of his victory, he was shot by an assassin, dying twenty-four hours later, and Johnson's Vice President, Hubert Humphrey, announced his candidacy. He captured the nomination at a tumultuous Democratic convention in Chicago marked by battles between police equipped with nightsticks and Mace and rioting antiwar protesters. Buffett then supported Humphrey against the Republican Richard Nixon, who won the election. In later years, McCarthy switched parties several times and made several erratic independent runs for President, undermining his credibility as a serious politician.

Buffett was notably loyal to his close friends. His enthusiasm for more distant acquaintances, and especially for public figures was fickle, however, waxing and waning with their stature in others' eyes. In his insecurity, he worried constantly about how associating with others reflected on him. Eventually he regretted and downplayed his association with McCarthy. But his involvement in politics and his commitment of money signaled a sea change in Buffett's life. For the first time he had made room for something besides investing, a "noneconomic activity" with roots in his family's past and one that stretched toward the unknowable future.

32

Easy, Safe, Profitable, and Pleasant

Omaha • 1968–1969

In January 1968, Buffett had issued a call to his fellow Grahamites, summoning them together for the first time as a meeting of the faithful in the middle of a stock market gone mad. *"[T]here has been a tremendous change in attitude in the last few years, and I think the gang that is assembling in La Jolla is about all that is left of the old guard,"*[1] he wrote, inviting Graham's former students Bill Ruane, Walter Schloss, Marshall Weinberg, Jack Alexander, and Tom Knapp. He also invited Charlie Munger, whom he had introduced to Graham, as well as Munger's partner, Roy Tolles, and Jack Alexander's partner, Buddy Fox. Ed Anderson, who had left Munger's partnership to become a partner in Tweedy, Browne, was on the guest list, too, as was Sandy Gottesman, who, Buffett told Graham, is *"a good friend of mine and a great admirer of you."* Lastly, he said, *"I think you probably remember Henry [Brandt], who works very closely with us."*[2]

Fred Stanback, Buffett's partner in deals like Sanborn Map and the best man at his wedding, was too busy to attend. A few years after Warren had finished at Columbia, he and Miss Nebraska 1949, Vanita Mae Brown, had reunited for dinner in New York. They made it a sort of double date by bringing along Susie and Fred, who had met Vanita at least once before through Warren. She was then Vanita Mae Brown Nederlander, having been briefly married to a member of the Nederlander family, theater owners who were part of an American entertainment dynasty. After the dinner, Fred, Warren's most introverted friend, became, as another friend put it, "putty in her hands," as if to prove the old maxim that opposites attract. Initially, their marriage probably seemed like a sort of charming postscript to Warren's career at Columbia: a couple brought into the Buffetts' circle from that era. He did have a tendency to arrange his friends' lives, asking them to partner with him, putting them on his companies' boards, and in general wrapping them into his life through ties of various kinds. Two friends married may have felt almost like a compliment to him, but it turned out to be the worst decision Fred ever made in his life.

He and Vanita had been living in Salisbury, North Carolina, where Fred grew up and where his family had built their "Snap Back with Stanback" headache-powder business. Now Fred himself needed boxcarloads of headache powder; he was extracting himself from this pulse-pounding marriage. Vanita had thoroughly established herself in tiny Salisbury and remained there to torment him with all her considerable creativity while they battled in the courts. Thus, unlike the rest of the Grahamites, Fred's interest in the stock market had been temporarily diverted. It was at a time when the market was growing less attractive anyway: Hundreds of millions of dollars had been poured into it by people mindlessly coattailing so-called experts, who themselves had no more than a couple of years' proven ability to make money. More than fifty new investment funds had come to market, with nearly sixty-five more waiting in the wings.[3] For the first time in U.S. history, it became fashionable for a broad group of individuals to own stocks.[4] Buffett would describe this phase as resembling "an ever-widening circle of chain letters," even a "mania," populated mostly by "the hopeful, credulous, and greedy, grasping for an excuse to believe."[5]

In a business that was still transacted through paper trade tickets and physical delivery of stock certificates, trading volume had reached such a level that the market was nearly crushed under the weight of paperwork. Huge numbers of orders were duplicated or never executed, the tickets misplaced or simply thrown in the garbage, while file rooms worth of stock certificates disappeared, presumed stolen, amid rumors that the Mafia had infiltrated the market. All sorts of reforms pushed through in 1967 and 1968 automated and computerized the trading systems in a desperate effort to catch up. One of the most important would shut down the old "under-the-counter" market. The National Association of Securities Dealers announced that it was about to bring online a new system called NASDAQ that would quote prices for smaller stocks.[6] Instead of appearing on Pink Sheets that were stale the moment they were printed, the prices of most companies not listed on the stock exchanges would now be posted and updated electronically as they changed. Market makers had to show their hands and stand by the quotes they posted. Any trader who was very knowledgeable, good at haggling, and strong of backbone was not going to like the new system. In the middle of an already difficult market, it was going to make Buffett's job harder.

To each of the Grahamites coming to La Jolla, Warren sent out instructions. "Please do not bring anything more current than a 1934 edition of *Security Analysis* along with you," he wrote.[7] Whatever their age, wives, too, would remain at home.

In his letter, Buffett reminded them that they were there to listen to Graham, the Great Man, not one another. Several in the group—Munger, Anderson, Ruane—were inclined to be loquacious. When it came to investing, of course, no one had more of this tendency than Buffett himself. At age thirty-seven, he had finally attained peerage and was able to call his former teacher "Ben," but sometimes he still slipped and said "Mr. Graham." So he must have been at least partly reminding himself not to try to take over as the best student in the class.

Thus instructed, the dozen Graham-worshippers convened at the Hotel del Coronado, across the bay from San Diego. Warren had wanted to meet at a much cheaper venue such as a Holiday Inn; he made sure the group knew that the extravagance of this pink-and-white Victorian confection of a resort was Graham's idea.

By the time the dozen arrived in San Diego, a huge storm with lashing rain and churning seas had hit, but no one cared; they were there to talk about stocks. Buffett was bursting with pride at having engineered a tribute to his teacher and a chance to show off the wisdom of Ben Graham to his new friends. Graham arrived at the Coronado late. Ever the teacher, as soon as he got there, he immediately gave them an exam.

Graham was almost painful to listen to under any circumstances. Every sentence was complex and larded with classical allusions. The exam he gave them was much the same. *"They were not terribly complicated questions, although they were a little—you know, some were French history, or something like that. But you thought you knew some of the answers,"* says Buffett.

They didn't. Only Roy Tolles got more than half. By answering everything "true" except a couple that he knew for certain were not, he scored eleven out of twenty. The "little exam" turned out to be one of

Graham's teaching tricks, designed to show that even an easy-looking game can be rigged. Buffett would later have a saying: Knowing that a clever guy is stacking the deck is not necessarily protection.

During the rest of the meeting, Graham tolerated the discussions of stock promotion, manufactured performance, phony accounting, institutional speculation, and the "chain-letter acquisition syndrome" with bemusement.[8] But he was no longer engaged; instead, he wanted to tell riddles and joined with enthusiasm in brainteasers and word and numbers games.

Buffett, however, was as much engaged as ever, notwithstanding the tenor of his letter to his partners in October 1967, when he wrote that from now on he would limit himself to activities that were "easy, safe, profitable, and pleasant." When he returned to Omaha from San Diego he focused intensely on the problems of the partnership. He needed to let the partners know that all was not well at some of the businesses they owned and in his next two letters dropped subtle hints. After having described the travails of textiles eloquently in 1967, he made no further mention of the business in 1968, although the prospects and results of the Berkshire mills had not improved. Earnings at DRC were falling because of Hochschild-Kohn.[9] Still, Buffett did not take the logical next step, which would have been to sell Berkshire Hathaway and Hochschild-Kohn.

Here, his commercial instincts chafed against some of his other traits: the urge to collect, the need to be liked, the preoccupation with avoiding confrontation after the Dempster windmill war. In an intricate minuet of rationalization, he explained his thinking in his January 1968 letter to the partners: *"When I am dealing with people I like in businesses I find stimulating (what business isn't?), and achieving worthwhile overall returns on capital employed (say, ten to twelve percent), it seems foolish to rush from situation to situation to earn a few more percentage points. It also does not seem sensible to me to trade known pleasant personal relationships with high-grade people, at a decent rate of return, for possible irritation, aggravation, or worse at potentially higher returns."*[10]

Some of the growing crowd of Buffett-watchers may have read these words with surprise. Measuring by "overall" returns allowed for some businesses to do considerably worse than the average. To witness Buffett—who squeezed the last tenth of a percentage point from a buck like a miser gripping a toothpaste tube—dismissively waving away "a few more percentage points" was astonishing.

Yet his performance stopped complaints, for even as he lowered expectations, he continued to surpass himself. Despite the deadweights, the partnership had averaged more than a thirty-one percent return over the dozen years of its existence, while the Dow had produced nine percent. The margin of safety Buffett always insisted on had skewed the odds sharply in his favor.[11] Along with his talent for investing, its cumulative impact on his batting average meant that $1,000 put in the Dow was now worth $2,857, whereas he had turned it into nearly ten times that, $27,106. Buffett's partners by now trusted him to always deliver more than he promised. He manifested predictability and certainty in 1968, the tumultuous year in which students would take over and close Columbia University, flower-child demonstrations would turn militant, and activists would nominate a pig for President.[12]

But by mid-1968, Buffett had made a decision to try to jettison the intractable Berkshire Hathaway—a business that was neither easy, safe, profitable, nor pleasant—and its unlucky textile workers. He offered to sell the company to Munger and Gottesman. They came to Omaha to visit and talk. After three days of discussion, however, neither man wanted to buy something that Buffett thought he was better off without. He was stuck with Berkshire Hathaway.

Because the Apparel and Box Loom divisions were not self-sustaining and it would take gobs of cash to keep them running, Buffett was now forced to act. Deploying capital with no hope of a return was a cardinal sin to him. He told Ken Chace what to do. Chace was upset, but, in typically stoic fashion, he followed orders and shut the two divisions down.[13] Still, Buffett could not bring himself to put a spike through the whole thing and bury it.

What he was left with, therefore, was a partnership that owned two businesses, one thriving—National

Indemnity—and one failing—Berkshire Hathaway—plus eighty percent of DRC, the retail holding company, and, of course, shares in a wide range of other companies. As 1968 waned, stocks on the fringes of the market began to slide; investors concentrated on the biggest, safest names. Indeed, Buffett himself started buying the blandest, most popular stocks that remained reasonably priced: $18 million of AT&T, $9.6 million of BF Goodrich, $8.4 million of AMK Corp. (later United Brands), $8.7 million of Jones & Laughlin Steel. But above all, he kept accumulating more Berkshire Hathaway—despite his restriction against buying any more bad businesses and even though the textile business was sinking into the mud. Only a short while ago, he had tried to sell it to Munger and Gottesman, but now that he could not sell it, he seemed to want as much of the stock as he could get.

He and Munger had also discovered another company they saw as promising and were buying as much stock of it as they could. This was Blue Chip Stamps, a trading-stamp company. They would buy it separately and together, and over the course of time Blue Chip would dramatically reshape the course of both men's careers.

The trading stamp was a marketing giveaway. Retailers handed stamps to their customers with their change. Customers dumped them in a drawer, then pasted them into little booklets. When redeemed, enough of the booklets bought them anything from a toaster oven to a fishing rod or a tetherball set. The small thrill of saving stamps fit neatly into a disappearing world: a world of thrift, a world that feared debt, that viewed these "free gifts" as the reward for taking the trouble to collect and save those stamps and for never wasting anything.[14]

But the stamps were not really free.[15] The stores paid for them and marked up the merchandise accordingly. The national leader in trading stamps was Sperry & Hutchinson, except in California. There, a group of chains had shut out the S&H Green Stamp by starting their own trading stamp, Blue Chip, and selling it to themselves at a discount.[16] Blue Chip had a classic monopoly.

"When you had all the major oil companies and grocers giving out a single stamp, it became like money. People would leave their change behind and take the stamps. Morticians gave out stamps. Prostitutes gave them. I always thought the funniest thing would be if the madam would call in one of the girls and say, 'From now on, I think you better double-stamp, honey.' It was ubiquitous. Everybody had them. People even counterfeited them."

In 1963, the Department of Justice had filed suit against Blue Chip for restraint of trade and monopolizing the trading-stamp business in California.[17] S&H also sued it. With the stock in a slump, Rick Guerin, who had founded his own partnership, Pacific Partners, noticed Blue Chip and took it to Munger. Buffett had noticed it too. "Blue Chip did not have an immaculate conception," Charlie Munger concedes, but they all decided to make a calculated bet that Blue Chip could work its way out of its woes—the S&H lawsuit being the most threatening.

They wanted it because Blue Chip had something called "float." The stamps were paid for in advance; the prizes got redeemed later. In between, Blue Chip had use of the money, sometimes for years. Buffett had first encountered this tantalizing concept with GEICO, and it was part of why he had wanted to own National Indemnity. Insurers, too, got paid premiums before the claims came in. That meant they could invest this steadily growing stream of "float." To someone like Buffett, who was supremely confident in his investing ability, such a business was catnip.

All kinds of businesses had float. Deposits in banks were also float. Customers often thought of banks as doing them a kind of favor by holding their cash in a safe place. But the bank invested the deposits in loans at the highest interest rates they could charge. They made a profit. That was "float."

Buffett, Munger, and Guerin understood how to invert every financial situation. If someone offered them trading stamps, they upended the situation and thought, "Hmm, it's probably better to own the trading-stamp *company,*" then figured out why. They would no more spend time saving trading stamps to get a hibachi or a croquet set than they would wear their great-aunt Betsy's petticoats to the office. Even Buffett—a boyhood stamp collector who still dreamed occasionally about counting stamps, and had a sentimental stash of Blue

Eagle stamps in his basement—would rather own Blue Chip stock than collect Blue Chip stamps.

In 1968, Blue Chip began settling the lawsuits filed against it by competitors.[18] It entered into a "consent decree" with the Justice Department, under which the grocery chains that owned it would sell forty-five percent of the company to the retailers who gave away the stamps.[19] To remove even more control from the grocers who had given Blue Chip its less-than-immaculate conception, the Justice Department required the company to find another buyer for one-third of its stamp business. Still, it looked as though Blue Chip had survived this part of the legal fight.[20]

Munger's partnership had bought 20,000 shares, and Guerin bought a similar amount. In the process, Munger developed the proprietary attitude about Blue Chip that Buffett displayed about Berkshire Hathaway. He warned others away from it. "We don't want anyone buying Blue Chip," he told people. "We don't want anyone buying this."[21]

As the market rose, Buffett increased the partnership's temporary cash position to the tens of millions, even though he was still buying stocks in huge chunks. His partnership also took over large blocks of Blue Chip stock from Lucky Stores, Market Basket, and shares owned by Alexander's Markets, however, and would continue to buy for the next few months until the partnership had acquired more than 70,000 shares. For National Indemnity and Diversified, he also bought five percent of the stock of Thriftimart Stores, one of Blue Chip's largest shareholders. Buffett figured he could eventually get Thriftimart to swap the Blue Chip it owned for its own stock. Fortunately they were betting mainly on the S&H lawsuit settling—otherwise, the timing would have been awful.

Just as he and Munger and Guerin were making large commitments to Blue Chip, its steadily growing sales apexed. Women had started to lose interest in sitting at home, sticking trading stamps in a book. The burgeoning women's liberation movement meant that they had better things to do with their time, more money, and with that a sense of entitlement that meant that if they wanted an electric blender or a fondue set, they went out and bought it, rather than fussing over books of stamps to trade in for it. Social roles and conventions had gone topsy-turvy, the Establishment culture so reviled that young people said categorically, "Don't trust anyone over thirty." Buffett, at thirty-eight, did not feel old personally—he would never feel old personally—but "I am in the geriatric ward, philosophically," he wrote to the partners.[22] He was out of step with modern culture and finance.

In 1968, the prospect of Vietnam peace talks in Paris set off another boisterous rally in the market. Though proud of having husbanded, tended, and compounded his partnership, with minimal risk, from seven investors and $105,000 to more than three hundred people and $105 million, Buffett had become an elder of the market, seemingly eclipsed by young barnstormers who could flash a couple of years' worth of showy numbers and joy-ride new investors into giving them $500 million nearly overnight.

He seemed especially—and comfortably—antiquated when it came to all the new technology companies that were forming. At Grinnell College, he showed up for a meeting to find his fellow trustee Bob Noyce itching to leave Fairchild Semiconductor. Noyce, Gordon Moore (its research director), and its assistant director of research and development, Andy Grove, had decided to start a nameless new company in Mountain View, California, based on a vague plan to extend the technology of circuits to "higher levels of integration."[23] Joe Rosenfield and the college endowment fund each said they would put in $100,000, joining dozens who were helping to raise $2.5 million for the new company—which was soon to be named Intel, for *Int*egrated *El*ectronics.

Buffett had a long-standing bias against technology investments, which he felt had no margin of safety. Years ago, in 1957, Katie Buffett, wife of his uncle Fred Buffett, had arrived at Warren's back door one day with a question. Should she and Fred invest in her brother Bill's new company? Bill Norris was leaving Remington Rand's[*26] UNIVAC computer division to start a company called Control Data Corporation to compete with IBM.

Warren was horrified. *"Bill thought that Remington Rand was falling behind IBM. I thought he was out of his mind. When he left Remington Rand he had six kids and no money to speak of. I don't think Bill left to get rich. I think he left because he just felt frustrated. Everything had to go to New York to get approved and come back. And Aunt Katie and Uncle Fred wanted to put a few bucks in Control Data there right at the start. Bill didn't have any money. Nobody had any money, in a sense."* Well, except Warren and Susie. *"I could have financed half the thing if I'd wanted. I was very negative on it. I told them, 'It doesn't sound like much to me. Who needs another computer company?'"*[24]

But since Bill was Katie's brother, for once she and Fred had ignored Warren's advice and invested $400 anyway, buying the stock at sixteen cents a share.[25]

That Control Data had geysered investors with money hadn't changed Buffett's opinion about technology. Many of the other technology companies that had started at the same time had failed. As much out of regard for Rosenfield as for any other reason, however, Buffett signed off on a technology investment for Grinnell.[26] *"We were betting on the jockey, not the horse,"* as he saw it.[27] But, more important, Rosenfield provided the margin of safety by guaranteeing the college's investment. And as much as Buffett admired Noyce, he did not buy Intel for the partnership, thus passing on one of the greatest investing opportunities of his life. While he had lowered his investing standards in difficult environments—and would do so again—one compromise he would never make was to give up his margin of safety. This particular quality—to pass up possible riches if he couldn't limit his risk—was what made him Warren Buffett.

Now the whole market was starting to look like Intel to him, however. His 1968 year-end letter assessed it soberingly, saying that investing ideas were at an all-time low.[28] "Nostalgia just isn't what it used to be," he concluded.

As he later explained: *"It was a multi-trillion-dollar market, and yet I couldn't find a way to invest $105 million intelligently. I knew I didn't want to manage other people's money anymore in an environment where I didn't think I could do well, and yet where I'd feel obliged to do well."*

That attitude was remarkably different from 1962, when the market was similarly soaring. Both times he bemoaned it. But then he had raised money with an energy that belied his inability to put it to work.

The partners were dumbfounded by the contrast between his dour words and the wing-walk way he seemed to be earning money for them. Some began to impart an almost supernatural level of confidence to him. The more he surpassed his own gloomy predictions, the more the legend seemed to grow. But he knew it wasn't going to last.

33

The Unwinding

Omaha • 1969

In the outer office on Kiewit Plaza's eighth floor, Gladys Kaiser sat guarding Warren Buffett's doorway. Rail-thin, perfectly made up, chain-smoke drifting through her platinum hair, Gladys dispatched paperwork, phone calls, bills, and nonsense with brisk efficiency.[1] She kept Buffett off limits to everyone—including his family at times. It made Susie seethe, but with Gladys guarding the door there was nothing she could do.

Susie blamed Gladys. And, of course, Warren would never give Gladys an actual order to keep Susie out. But everyone at his office knew how to interpret what he wanted from his subtle way of saying something

without directly stating it. Nobody would so much as cough if they thought he would disapprove. People had to follow hints and signals as if they were stated rules simply to work at the Buffett Partnership. Beetled brows and "hmmmf" meant "Don't even consider it." "Really?" meant "I disagree but won't say so directly." An averted head, crinkled eyes, and backpedaling meant "Help me, I can't." Gladys brooked no nonsense in following these unarticulated requests and orders, and sometimes people's feelings got hurt. But her job was to protect her boss, and that meant doing things he couldn't bring himself to do. She had to be tough enough to take the blame.

On the dingy walls above her head hung some framed newspaper clippings, reminders of the 1929 Crash. Dented metal furniture, along with an old ticker machine, furnished the offices. Down the short linoleum hallway beyond Gladys sat the other people who knew how to interpret Buffett's signals and signs. To the left was Bill Scott's little office, where he barked "Hurry up, I'm busy!" at the brokers to execute Buffett's trades. Down the hallway to the right, in a workroom packed with files and the small refrigerator Gladys kept filled with Pepsi bottles, part-time bookkeeper Donna Walters plied her trade, meticulously keeping the partnership's records and preparing its tax returns.[2] Just past Walters sat John Harding, managing the partners' and the partnership's affairs. Straight ahead behind Gladys was Buffett's own realm, furnished with a couple of reclining armchairs, a desk, and a litter of newspapers and magazines. Its most prominent feature was the large portrait of Howard Buffett on the wall across from his desk.

Warren arrived every morning, hung up his hat, and disappeared into his sanctuary to read the papers. After a while he emerged and told Gladys, "Get me Charlie." Then he shut the door, got on the phone, and spent the rest of the day swiveling between the phone and his reading, spelunking for companies and stocks to buy. Once in a while he would reappear and tell Bill Scott about a trade.

With the stock market high, Scott was less busy these days. Buffett, his pockets full of the money that National Indemnity produced, was delving for entire businesses, since their prices were less subject to the whim of investors. He had discovered the Illinois National Bank & Trust, one of the most profitable banks he had ever seen, run by seventy-one-year-old Eugene Abegg in Rockford, Illinois. Buffett wanted the crusty Abegg as part of the deal. Abegg resembled Ben Rosner, who had counted sheets of toilet paper. Buffett talked to Abegg about a few things he wanted to change in the business, then said, "I've dropped all the shoes. I'm not a centipede. If you want to go ahead, fine, and if not, then we're still friends."

"Gene had already made a deal to sell the bank to somebody else. But the buyer had started criticizing it, or they wanted an audit and he'd never been audited and he wanted out. He was pretty dominant, and everything he did was unbelievably conservative.

"He carried around thousands of dollars of cash in his pocket, and he cashed checks for people on the weekends. He carried a list of the numbers of unrented safe-deposit boxes with him everywhere and would try to rent you a safe-deposit box at a cocktail party. Mind you, this is the biggest bank in the second-largest city in Illinois at the time. He set every salary and paid every employee in cash, so the head of the trust department did not know how much his own secretaries made. So I went out there, and I named a number that turned out to be about a million dollars less than the other guy. And Gene, who owned a quarter of the stock, called up his biggest shareholder, who owned more than half the stock, and said, 'This young guy from Omaha's come here and offered this. I'm tired of those guys at XYZ Company. If you want to sell to them, then you come run this bank, because I won't.'"

Sure enough, Abegg accepted his offer. And doing business with him cinched Buffett's instinct that strong-willed and ethical entrepreneurs often cared more about how they and the companies they had built were going to be treated by the new owners than about grabbing the last nickel in a sale.

The Illinois National Bank, which Buffett soon came to refer to by its colloquial name of Rockford Bank, had been chartered in the days before the U.S. Treasury assumed the exclusive right to coin money. Buffett was fascinated to discover that it still issued its own currency. The ten-dollar bills featured Abegg's picture. Buffett, whose net worth was now more than $26 million, could have bought almost anything he wanted, but not this. Gene Abegg had done him one better. He and the United States Treasury had the privilege of issuing their own currency, but not the Buffett Partnership or Berkshire Hathaway.[3] The idea of legal tender with

your own picture on it captivated him. He began carrying a Rockford bill in his wallet.

Heretofore, Buffett had not wanted his picture on a bill or anywhere else. He had more or less shunned the spotlight while managing the partnership. True, a few more stories and photographs of his family had found their way into the local paper than might be expected of someone who wanted privacy.[4] Nevertheless, except for his letters to the partners, he had gone through the sixties with his lips sealed—he didn't want anyone coattailing him. He didn't talk about how he invested and he didn't broadcast his results, in contrast to the flash and razzle-dazzle shown by other money managers of the era, whose self-promotion propelled them to nearly instant fame.

Even when the opportunity to promote himself arrived on his doorstep, he hadn't used it. A few years earlier, John Loomis, a securities salesman, visited Buffett at Kiewit Plaza. Loomis's wife, Carol, wrote the investing column for *Fortune* magazine. She had once interviewed a money manager named Bill Ruane, who told her that the smartest investor in the United States lived in Omaha. Some time later, her husband arrived at the pale monolith of Kiewit Plaza and made his way upstairs to the 227 1/2-square-foot space that looked nothing like the office of one of the richest men in town.

Buffett took him over to the restaurant at the Blackstone Hotel across the street, where he downed a strawberry malt and told Loomis what he did. Loomis talked about his wife's job as a journalist, and Buffett found that interesting. He said that if he had not become a money manager, he would have pursued journalism as a career.[5]

Warren and Susie met with the Loomises when they were in New York not long after. *"They got us a special little room someplace where we had lunch,"* Buffett says. The well-connected young money manager from Omaha with the stellar track record and the ambitious reporter for *Fortune* found they shared many attributes: a zeal for unmasking the flimflam of fat cats, a magpie obsession with minutiae, and a streak of competitiveness as long as the interstate from New York to Omaha. Carol Loomis was a tall, athletic-looking, no-nonsense woman with short brown hair who tolerated shoddy journalism about as well as Buffett tolerated losing money, and she was a punctilious editor. They began to correspond and she ushered him into the world of big-league journalism. He began helping her with her story ideas. "Carol very quickly became my best friend other than Charlie," he says.[6] At first she did not publish anything about Buffett.

By the late 1960s, however, the rising market had made investing in stocks less viable for the partnership. The advantage of a higher profile when trying to buy entire businesses began to outweigh the advantage of secrecy in buying stocks. And thus it was in the late 1960s that Buffett's longtime interest in newspapers and publishing came together with his newly recast investing goals and his desire for personal attention in a way that would fundamentally change his world.

Before long, Buffett was immersed in the black-and-white world of journalism. Page by page, newspapers fell to cover the litter of financial reports from the publishers of newspapers and magazines that lay scattered on his desk. When he went to sleep, more newspapers—pulled from a bundle and folded into tidy packets—flew through his dreams. On his most restless nights, he dreamed of oversleeping his childhood paper route.[7]

Buffett's fortune had grown large enough for him to afford the purchase of a newspaper or a magazine, or both. His dream was to be not just an investor but a *publisher*—to have the influence that went with owning the means through which the public learned the news. Around 1968, he and some friends tried to buy the entertainment newspaper *Variety,* but this came to naught.[8] Then another acquaintanceship bore fruit. Stanford Lipsey was a friend of Susie's who liked to go to clubs with her and listen to jazz. One day, he showed up in Warren's office and said he wanted to sell the *Omaha Sun* Newspapers. Buffett was immediately interested; he had already tried to buy it once.

The *Sun* was a chain of weekly neighborhood newspapers that Stan and Jeannie Blacker Lipsey had inherited from her father. It published seven editions in the Omaha suburbs; its meat-and-potatoes stories were the police blotter, local society news, neighborhood business doings, high school sports—and gossip about who was going steady with whom, which made it a must-read for both parents and kids. Although the *Sun* was the

underdog in Omaha, its editor, Paul Williams, specialized in investigative journalism, and competed by publishing stories that the leading paper, the *Omaha World-Herald,* missed, often stories that exposed the follies and misdeeds of city bigwigs, stories that would offend major advertisers of the *World-Herald.* Usually these advertisers shunned the *Sun.*

Despite his own elevation to the Omaha establishment, Buffett took a particular interest in the muckraking aspect of the *Sun.* Ever since collecting license-plate numbers to catch bank robbers, he had wanted to play the cop. And "he'd always had this huge admiration for newspapers," Lipsey says. "I recognized intuitively that Warren understood the role of newspapers in our society. There was a new highway about to come through my plant, and I would have had to borrow a whole lot of money to buy a new press. I didn't like the *Sun*'s business prospects, but I knew that Warren had enough money that the journalism wouldn't suffer because of the economics. In twenty minutes, it was done."

"I figured we'd pay a million and a quarter for it and take out a hundred thousand a year," Buffett says. This return was eight percent, about as much as a bond would provide—less, far less, than he expected to earn on a business or a stock, and the long-term outlook suggested that return would decline, not increase. But the partnership's money was lying fallow, and he really wanted to be a publisher. "Part of my deal," Lipsey says, "was that, even though the partnership was closed, he had to take me in." Buffett wanted the *Sun* so much that he agreed even though he knew he was beginning to consider shutting the partnership down.

Berkshire Hathaway became owner of the *Omaha Sun* Newspapers on January 1, 1969. But this little neighborhood newspaper was only a beginning; Buffett wanted to be a publisher on a national scale. Joe Rosenfield introduced him to West Virginia's Secretary of State Jay Rockefeller, whom Rosenfield considered a rising political star. Soon, the Buffetts were hosting the Rockefellers for dinner in Omaha; Rockefeller, in turn, introduced Warren to Charles Peters, an idealist whose start-up magazine, the *Washington Monthly,* seemed like the right national voice to express viewpoints on important ideas. Buffett talked to Gilbert Kaplan, who ran *Institutional Investor* magazine, to get a handle on magazine publishing.[9] Then he wrote to Rockefeller: "You have found my Achilles' heel. I am a pushover for publishing deals—when I like the product…. I might mention that my enthusiasm for publishing adventures is in exact inverse proportion to my calculated assessment of their financial probabilities."[10]

Buffett introduced Fred Stanback and Rosenfield to the idea of investing in the *Washington Monthly,* warning them that it was unlikely to be a financial table-pounder. But the scandals it might uncover—the ideas it could promote—the minds it could awaken—the exposés it could expose! They put in a little money.[11]

In short order, the *Washington Monthly* ran through its initial capital stake. Buffett held out the possibility of another $50,000. Then he and Peters had a fifty-minute phone conversation. And, "Oh God," says Peters. "As an investment it reeked of the potential for failure. There was his instinct as a hard businessman, and his philanthropic, good-citizen instinct on the other side, and they were clearly at war. He was worried about his business reputation and would come within an inch of pulling out, and I would slowly try to pull him back. Warren kept finding new plausible escape routes, and I tried to block the exits. But the glorious thing was, he ended up staying in."[12] Buffett added the condition that the editors had to put in some of their own money while Peters raised some outside, which Buffett said he would match eighty percent.[13]

Peters was a better journalist than an accountant. They raised the money; the checks went out; then nobody heard from the *Washington Monthly* for months. *"They just vanished,"* says Buffett. *"Fred Stanback complained that he was getting IRS forms late, and had to amend his tax returns."*[14] Although the *Washington Monthly* was indeed putting out strong stories—as Buffett had wanted—it wasn't enough. He had known from the beginning that it would not make money, but he thought it ought to be accountable for the money that it had. He was embarrassed at having drawn Stanback and Rosenfield into a bear hunt. The investors felt they were being treated like bank tellers. Buffett wanted to be a partner in journalism, a fellow newshound, not just the guy who bankrolled idealism.

Yet even with mixed results, Buffett was now pursuing the personal concerns of which he had spoken in his October 1967 letter to his partners. Meanwhile, the market continued to dry up and deprive him of opportunities. Spending part of his time as a publishing magnate was no help in adjusting to that reality. Whatever else occupied him, he remained wholly committed to the partnership, too, and it turned out that a "less compulsive approach" to investing was not in his nature. So he started to figure out the best way to wind down the partnership. He says he received offers from a couple of people to buy the management firm, which would have meant the opportunity to sell at a large profit, but he thought this was not right. It was unusual for a money manager to forgo a large sum of money, even in those days, and so far, Buffett had shown no inclination to avoid getting richer. But he had always stayed on the same side as his partners, harnessing his avarice to their benefit as well as his own. Around Memorial Day 1969, Buffett wrote the partners to tell them that simply lowering his goal hadn't lessened his intensity:

"If I am going to participate publicly, I can't help being competitive. I know I don't want to be totally occupied with outpacing an investment rabbit all my life. The only way to slow down is to stop."[15] And then he delivered his bombshell: He announced he would be giving his formal notice of retirement by year-end and closing down the partnership in early 1970. *"I am not attuned to this market environment, and I don't want to spoil a decent record by trying to play a game I don't understand just so I can go out a hero."*[16]

What would he do now?

"I don't have an answer to that question," he wrote. *"I do know that when I am sixty, I should be attempting to achieve different personal goals than those which had priority at age twenty."*[17]

The partners howled with disappointment, and a few with fear. Many were naïfs, like his aunt Alice. They were ministers, rabbis, schoolteachers, grandmothers, and mothers-in-law. His announcement amounted to a market call on stocks. He did not think the game would be worth playing anytime soon. He had taught even the inexperienced to be wary of an overheated market. Some trusted no one other than him. But "he just didn't want to operate in an environment where he didn't feel comfortable with the opportunities," says John Harding, "especially when it was something that he felt he had to devote all his time to."

* * *

Susie Buffett was happy that Warren was shutting down the partnership, at least for the kids' sake. They cared desperately what their father thought of them. Susie Jr. had always gotten most of what little attention Warren provided, and Peter felt rewarded for being quiet and staying in the background. But fourteen-year-old Howie, who had always sought some emotional connection to his father that was never forthcoming, had grown wilder as he grew up. Susie Jr. would find a pair of mannequin legs covered with fake blood sticking out of her closet. He climbed on the roof in the gorilla costume to spy on her when she came home from dates and drenched her with the sprayer from the kitchen sink when she appeared in her prom dress. When their parents were in New York City, Howie seized the chance for an experiment in anarchy.[18] Warren, still relying on Susie for everything, assumed she would take care of whatever Howie and the other kids needed. But by now, Susie herself had stopped trying to control her children. And she had long since let go of any idealistic expectations regarding her marriage. Her attention was increasingly taken up by an expanding number of "vagrants," as one friend put it, who wandered through the house, sought her help, and occupied her time.[19]

Since she almost always accepted people unconditionally, some of those "clients" had pasts as felons, con men, addicts, or, in one case, as the purported proprietor of a bawdy house. From time to time these people conned her out of money. She didn't really mind. Buffett was infuriated at the thought of being cheated himself, but he had eventually come to think of this as part of Susie's giveaway budget and even accepted it as part of her charm.

Her large group of women friends continued to expand: Bella Eisenberg, Eunice Denenberg, Jeannie Lipsey,

Rackie Newman, and others. Though Warren recognized who most of them were, this was Susie's circle, not his. Other ties of hers, people like Rodney and Angie Wead, came from the activist community; another set of friends centered around the tennis courts at Dewey Park. And there was always the family: Leila, especially now that Roy Ralph had died and she had taken back the Buffett name; Fred and Katie Buffett and their son Fritz, who had married Warren and Susie's former babysitter, Pam—also, of course, a friend of Susie's now. Her nephews Tom and Billy Rogers were often around, as was another guitarist from the local music scene whom she had met through Billy, David Stryker. Like the Rogers boys and Dave Stryker, a number of Susie's friends were younger: She was close to Renee and Annette Gibson, daughters of the baseball player Bob Gibson and his wife, Charlene. Several of the black students to whom she had given scholarships had come under her wing and wandered in from time to time: Russell McGregor, Pat Turner, and Duane Taylor, son of the jazz great Billy Taylor. And so it went.

Even though Susie was the fountainhead of all this generosity, she was starting to need a little attention too. It wouldn't have taken much, according to her friends, just an ounce of effort on her husband's part. She disagreed that making money was life's purpose. She felt impoverished denying herself travel, museums, theater, art, and most other forms of culture because of his lack of interest. Warren praised her effusively in public but when at home or work, lapsed into his normal preoccupied state. If he would make an effort by going to an art gallery with her now and then, or take her on a trip just because she wanted to go, it would make a difference, she said. But while he did sometimes show up when asked, if she had to ask, it was a favor, not a gift.

Now that Susie realized that Warren was never going to take off to Italy for weeks on end, she began to travel on her own or with her women friends, sometimes to visit family—such as Bertie, who now lived in California—and sometimes to attend personal-growth seminars.

One day at the Chicago airport, a man stopped in front of her as she sat on a bench. "Are you Susie Thompson?" he asked. She looked up, embarrassed to have been caught with a mouth full of hot dog. It was Milt Brown, her high school sweetheart, whom she had not seen in years. He sat down and they began to get reacquainted.[20]

Susie, who was always reaching out for emotional connections, would later say that her husband wasn't lacking in emotion, he was just cut off from his own feelings. And it certainly seemed as though his strongest emotional bonds were with his friends and partners, to whom he felt an intense obligation, and with whom he had created a de facto family. The other Buffetts could not help but notice the way he lit up in their company, in contrast to the dutiful but preoccupied manner he displayed while attending his own family events.

Thus, even now that he was preparing to close the partnership that had consumed most of his waking hours for the last thirteen years, he remained fully engaged with his partners and seemed a little reluctant to let go of his connection to them. He went to extremes to help them place their money in good hands, writing them another letter describing their options in meticulous detail.

Explaining his dedication to them, he says, *"The question of finding other advisers is a tough one. When I wound up my partnership, I had these partners that had counted on me and I was going to be distributing a lot of money. I felt an obligation to at least suggest some alternatives for them."*

This was unusual behavior for a money manager, to say the least. Even Ben Graham had only said, "Oh, buy AT&T," when asked, and mentioned Buffett offhandedly to a few people. But Buffett made elaborate efforts to shepherd his partners on to their future investing life. Some of them were already in the Munger partnership, and Buffett sent one or two more to him. But Munger was queasy about the market. "Who wants to be around people when you're disappointing them?" he says. "Particularly when you sucked them into the relationship?" He also lacked Buffett's genius for promotion.

"I recommended two people to the partners whom I knew were exceptionally good and exceptionally honest: Sandy Gottesman and Bill Ruane. I'd been around the investment world for a long time at that point, and I'd gotten to know them over the years. So I not only knew their results, but I knew how they'd

accomplished their results, which was terribly important."[21]

So the richer partners would go to Gottesman at First Manhattan. But Sandy didn't want the small-fry, so Buffett sent the rest to Ruane, who was now leaving Kidder, Peabody to set up his own investment advisory firm—Ruane, Cunniff & Stires—with two partners, Rick Cunniff and Sidney Stires, and creating the Sequoia Fund specifically to take on the smaller accounts. They hired John Harding, who would be out of a job when the partnership dissolved, to run an Omaha office for the new company. John Loomis, the securities salesman who was Carol Loomis's husband, and Buffett's trusty researcher Henry Brandt also went to Ruane, Cunniff —giving it in effect a full staff. These connections also kept Harding, Loomis, and Brandt in Buffett's extended "family."

Buffett brought Ruane to Omaha and promoted the Sequoia Fund to the partners. He endorsed Ruane in typically mathematical terms. Unremarkably, even though he had known Ruane for years, he still felt it necessary to leave a small escape hatch, fearing blame in case things didn't work out, and wrote: *"There is no way to eliminate the possibility of error when judging humans…[but] I consider Bill to be an exceptionally high-probability decision on character and a high-probability one on investment performance."*[22]

Yet while Buffett made arrangements to close the partnership, the first signs appeared that the market's sparks were going to cool. By July 1969, when U.S. troops began withdrawing from Vietnam, the Dow had dropped nineteen percent. Even though the triumphant moon landing that summer gave the country a lift, Wall Street did not feel it. Exotic stocks like National Student Marketing and Minnie Pearl's Chicken System, Inc.—which had garnered a huge following in a market where half the money managers and brokers had been working in the business for no more than seven years—were starting to collapse.[23]

Blue Chip Stamps, the trading-stamp stock painstakingly accumulated by Buffett, Munger, and Guerin, now became a striking exception to the general trend. The three of them had been betting on whether the company could settle its antitrust lawsuit with Sperry & Hutchinson. When a settlement was reached, this stock—which the Buffett partners didn't know they owned—showered nearly $7 million in profit on them in return for a $2 million investment less than a year ago.[24] Now Blue Chip decided to have a public offering, and Buffett elected to sell the partnership's shares as part of that deal.[25] It seemed that the partners were going to have a splendid final year in 1969.

That October, Buffett called another meeting of the Grahamites, including those who had gathered in San Diego the year before, sans Ben Graham himself. This time the wives were also invited, and although they did not join the meetings in which the men talked about stocks, their presence made the atmosphere more festive, like a vacation. Buffett delegated the planning to Marshall Weinberg, who lived in New York City and liked to travel. But Weinberg, who also liked to shave a dime and had no more experience of the jet-set life than Buffett, asked around and then made the unfortunate choice of the Colony Club, a Palm Beach, Florida, resort, where they were treated like rubes and snooted at even by the bellboys.

Ruane reported at the first night's dinner that the bellhop had handed him back his five-dollar tip with a sneer, saying, "You need it more than I do." Bill Scott had given *his* bellhop a handful of the dimes he always carried in his pocket to make phone calls for Buffett. The bellhop threw the change all over the floor in the hallway on his way out.

For the next five days, as the group enjoyed bad food, small rooms, high winds, and lashing rains, the men sat classroom style, with Buffett most often in his usual place at the front. They batted thoughts back and forth in an encoded shorthand derived from many years of conversation and a closely shared set of concepts and values.[26] *"Charlie told some horror stories,"* Buffett wrote later, and *"I drew the same gloomy conclusions, [while Walter Schloss] said that two mislocated steel companies with obsolete plants were still below book value so all was not lost."*[27]

Buffett posed the Desert Island Challenge. If you were stranded on a desert island for ten years, he asked, in

what stock would you invest? The trick was to find a company with the strongest franchise, one least subject to the corroding forces of competition and time: Munger's idea of the great business. As Henry Brandt took copious notes on the various answers, Buffett delivered his own choice: Dow Jones, owner of the *Wall Street Journal.* His interest in newspapers was growing and would only become more intense, yet curiously he did not actually own this stock.

The gathering ended much as it had begun, with more displays of rudeness from the hotel staff, who had no idea they were hosting anything other than a third-rate group of stockbrokers at a time when the market was falling.[28] The staff had officiously shooed the Grahamites away from the jewelry cases on the hotel mezzanine. On the last day, as the group was departing, Ed Anderson approached the front desk, and asked how best to get to the airport. Most of our guests go by limousine, he was told, but for you folks we'll call a cab.[29]

Buffett would go on to describe the Colony Club as *"a friendly family hotel—that is, friendly if you were the Kennedy family."*[30] It was a "low-class performance by a high-class place," says Anderson. Later, when a Fort Lauderdale businessman who held the mortgage on the Colony Club asked Buffett to advise him on a financing deal, Buffett told the man he would be happy to do it without taking a fee, but "if you ever have a chance to foreclose on them, do it."[31]

One of those Buffett had invited to the Colony Club was Hochschild-Kohn's Louis Kohn. Buffett had grown fond of Kohn and his wife, and he and Susie had vacationed with them in Cozumel. But inviting them to the Colony Club gathering proved awkward, since no sooner had the meeting been planned than Buffett and Munger started to realize that Hochschild-Kohn was not going to work out for them.

"Retail is a very tough business," says Charlie Munger. "We realized that we were wrong. Practically every great chain-store operation that has been around long enough eventually gets in trouble and is hard to fix. The dominant retailer in one twenty-year period is not necessarily the dominant retailer in the next." Their experience had given them a deep wariness of retailing—one that would only grow, not lessen, over time.

They wanted businesses that would marmalade them with money, businesses that had some sort of sustainable competitive advantage and could outwit the natural cycle of capital creation and destruction as long as possible. Not long after the meeting in Florida, Munger and Buffett sold Hochschild-Kohn to Supermarkets General for about what it had cost them.[32] Buffett wanted to act fast in order to unload the company before winding down the partnership and distributing the assets. And along with the company, the Kohns disappeared from the Buffetts' lives.[33]

Diversified Retailing had issued unsecured debt ("debentures") to finance the Hochschild-Kohn purchase. Buffett had taken special care with this, his first public financing, and insisted to his underwriters that the bonds have several unusual features. The bankers had objected that a novel structure would make the bond harder to sell.

"I said, 'Well, but bonds <u>should</u> have this in there.' That was the first bond issue I ever sold, and I put a few things in there that the underwriters had no interest in whatsoever. But I had thought a lot about bond issues over the years. And I had thought about how bondholders got taken."

Bondholders historically earned less than stockholders because they gave up the potentially unlimited opportunity of a shareholder in favor of lower risk. But Buffett knew that in the real world this was not necessarily true.

"One of the things I put in was that if we didn't pay the interest on the bond for any reason, the bondholders took over voting control of the company, so they didn't have to get Mickey Moused by bankruptcy and all that kind of stuff." Ben Graham had written about this in *Security Analysis,* with as much passion as he mustered on any subject, describing how courts rarely allow bondholders to seize the assets that back those bonds unless the assets are nearly worthless. Unsecured bondholders' interests were worked over in receivership through a strangling process that delayed payment almost to the point of irrelevance. Thus,

DRC's debenture also provided that the company could not pay dividends while the debentures were outstanding, meaning that equity investors could not siphon off profits while interest on the bonds was in arrears.

The second unusual provision was that the debentures paid eight percent but, depending on the earnings of the company, could pay up to an additional one percent.

And Buffett added a third provision. Because he felt that the bonds would be sold mainly to people who knew him or his reputation, he wanted the bonds to be redeemable if he sold enough stock in DRC that he was no longer the largest shareholder.[34]

"And nobody had ever stuck anything like this in a covenant. I said, 'You know, they're entitled to have this in there. They may not want to redeem them, but they're entitled if they want to. They lent money to me, basically.'" When his own banker, Nelson Wilder, protested that such clauses were unprecedented and unnecessary, Buffett overruled him.[35]

Now that interest rates had risen, and banks were newly reluctant to lend, the debentures suddenly became a valuable form of cheap financing, a powerful consolation prize. Nevertheless, since Buffett thought of a dollar today as the fifty or hundred dollars that it could become someday, it was as if he had lost many millions on Hochschild-Kohn because of the forgone opportunity to use the money more effectively. He drew a conclusion that he would later state as:

Time is the friend of the wonderful business, the enemy of the mediocre. You might think this principle is obvious, but I had to learn it the hard way…. After ending our corporate marriage to Hochschild-Kohn, I had memories like those of the husband in the country song 'My Wife Ran Away with My Best Friend and I Still Miss Him a Lot.'…It's far better to buy a wonderful company at a fair price than a fair company at a wonderful price. Charlie understood this early; I was a slow learner. But now, when buying companies or common stocks, we look for first-class businesses accompanied by first-class managements. That leads right into a related lesson: Good jockeys will do well on good horses but not on broken-down nags.[36]

Even as Buffett and Munger were working on the sale of Hochschild-Kohn in the fall of 1969, *Forbes* hit the newsstand with a story about Buffett titled "How Omaha Beats Wall Street." The article opened in such an arresting manner that other writers covering Buffett would copy it for decades afterward.[37]

"$10,000 invested in his Buffett Partnership in 1957," *Forbes* said, "is now worth $260,000." The partnership, which now had assets of $100 million, had grown at an annual compounded rate of thirty-one percent. Over that twelve-year period, "it hasn't had *one year* in which it lost money…. Buffett has accomplished this through following consistently fundamental investing principles." The anonymous columnist for *Forbes* then wrote one of the more insightful statements ever made about Buffett:

"Buffett is not a simple person, but he has simple tastes."

This not-simple Buffett with simple tastes had insisted on total secrecy in his stock dealings when he ran his partnership, and was never once profiled in an interview. Now, however, when secrecy was no longer important, he had cooperated with a high-profile article about himself.

The article did not print, or even whisper, his net worth. The reporter did not know that since Buffett closed the partnership to new partners in 1966, his fees, reinvested, had quadrupled his net worth to $26.5 million in just three years—nor that, with no money coming in from new partners to dilute him, his share of the partnership's assets had risen from nineteen percent to twenty-six percent. The story cited his "rambling old Omaha house" [38] and the lack of computers and vast staff in his unimpressive office. True, the man with simple tastes still chugged four or five bottles of Pepsi a day, asked for it instead of wine at dinner parties, and ate only the dinner rolls if anything more complicated than a steak or hamburger was served. A helpless captive of whoever happened to be doing the laundry at home, he still sometimes turned up in public looking little better than a hobo and barely noticed the condition of his clothes. He would have been happy in a

two-room garage apartment; the money was just his scorecard. It was Susie who cared about living well, and it was she who thought that money was pointless unless used for some purpose.

Nonetheless, the Buffetts had for some time lived the life of a well-to-do couple—though not, of course, a life as luxurious as they could have afforded. Susie had even upgraded Warren to a Cadillac like her own, but only the most stripped-down version with no extra features, and after she had called every dealer within miles to get the cheapest deal. People found the contrast between his homespun tastes and his ever-growing fortune refreshing. His genial manner, self-deprecating wit, and air of calm put them at ease. He had shed some of his earlier gracelessness and most of his arrogance along with the more obvious signs of insecurity —though his tolerance for criticism had not increased. He was learning to hide his impatience. He showed great loyalty to longtime friends. People were especially struck by his fundamental honesty.

Those who spent long periods in his presence, however, found the unleashed whirlwind of his energy exhausting. "Insatiable," they whispered, and sometimes felt a guilty relief when his attention lapsed. He inhaled information and was prone to deluging his friends with mountains of clippings and reading material that he thought would interest them, before realizing with a start that they had fallen months behind his pace. His conversations were less casual than they seemed. They always seemed to have a purpose, however obscure it might be to those on the receiving end. People sometimes realized he was somehow testing them. Buffett vibrated with an inner tension that belied his outwardly casual style.

It was hard to imagine what he was going to do with all that energy and intensity without the partnership. Many of the partners found it hard to imagine what they were going to do without him. Many of them had become his trainbearers and were reluctant to let go. Their reluctance struck an ironic note next to the fate of the other Buffett family business. Concurrent with its centennial, Fred Buffett threw his hands in the air and gave up on the Buffett grocery store. Neither of his sons wanted to take over, and even though it had a half million dollars a year in sales, when he tried to find a buyer, there were no takers. The grinding wheel of capitalism had spoken.

* * *

The Buffetts were not socialites and had never thrown a really large party. But with both the store and the partnership closing, they celebrated with a bash one night during the last weekend of September 1969. Nearly two hundred people of all ages and races poured into their house. Businessmen, society matrons, poor adopted "clients" of Susie's, teenagers, friends who were now rich from the partnership, Susie's women pals, assorted priests, rabbis, and ministers, and local politicians made their way through a string of flashing lights, past the three-foot Pepsi bottles in the windows. Susie had chosen a New York theme—Stage Door Deli food and decor—and told people to dress in "casual kosher." They showed up in everything from culottes to cocktail dresses. A half-cut beer barrel burst with chrysanthemums in her favorite color, sunshine yellow. A table was set up like a deli cart, covered with pastrami sandwiches and cheeses and hung with sausages and a real plucked chicken, in keeping with the theme. A piano player next to the beer keg in the sunroom encouraged guests to sing along. The aroma from a popcorn machine outside the racquetball court welcomed guests into an impromptu basement movie theater. The court's ceiling bobbed with giant helium balloons; films with W. C. Fields, Mae West, and Laurel and Hardy ran all evening long. In the solarium, the elderly Fred Buffett "protected" two bikiniclad models as the guests covered them with body paint.

"I had such a good time that I hate to think it's over," Susie said afterward.[39]

PART FOUR

Susie Sings



34

Candy Harry

Omaha • 1970–Spring 1972

Two months after the Stage Door Deli party, as Buffett took the formal steps to unwind the partnership, the Dow broke 800 on the downside. A month later, in January 1970, his friend Carol Loomis highlighted his spectacular performance over the course of the partnership's history—and his dour view of the prospects for stocks—in an article on hedge funds in *Fortune*.[1] Shortly before the article appeared, as the market started to snowplow downhill, he sent the partners a letter explaining what they owned.

• Berkshire Hathaway, which he said was worth about $45 per share.[2] Of this, about $16 was tied up in textiles, a business that he said was not satisfactory and had an even smaller chance of being so in the future. But even though that was one-third of the value, he would not liquidate it to free the cash. "I like the textile-operating people," he wrote. "They have worked hard to improve the business under difficult conditions—and, despite the poor return, we expect to continue the textile operation as long as it produces near-current levels." Berkshire Hathaway also owned the much more profitable insurer, National Indemnity.

• Diversified Retailing, which he valued at $11.50 to $12 per share. DRC consisted of only the scroungy Associated Cotton Shops and cash and notes from the sale of Hochschild-Kohn, which he planned to use "for reinvestment in other operating businesses." He did not specify what these might be, implicitly requiring the departing partners to trust his judgment, just as they had when they joined the partnership.

• Blue Chip Stamps, revealed for the first time. Buffett told the partners he would probably cash them out of this investment because the company was planning a sale of stock around the end of the year.

• Illinois National Bank & Trust Company of Rockford, Illinois, also owned by Berkshire Hathaway.

• *Sun* Newspapers, which he described as "not financially significant."[3]

The departing partners were floored to find that through their ownership of Berkshire Hathaway, they owned a trading-stamp company, a bank, and an insignificant newspaper.[4] Now they had to decide whether to hold these cards or trade them, because they could have all cash instead.

"He would cut the pie and you would be able to get the first choice on the pieces," says John Harding. This

was a brilliant move on Buffett's part. He, of course, wanted them to choose the cash, leaving the Berkshire Hathaway and Diversified Retailing stocks for himself. Nevertheless, he was honest with them. In a letter of October 9, 1969, he made a market forecast, which he had previously declined to do. With the market at such heights, *"...[f]or the first time in my professional life,"* he wrote, *"I now believe there is little choice for the average investor between professionally managed money in stocks and passive investment in bonds"*[5]—although he did allow as how the very best money managers might be able to squeeze out a few percentage points over the earnings of bonds. Nonetheless, the departing partners shouldn't have high hopes for what they could do with the cash.

Two months later, on December 5, he gave a prediction about how these two stocks would do, along with telling the partners what he was going to do himself. *"My personal opinion is that the intrinsic value of DRC and B-H will grow substantially over the years…. I would be disappointed if such growth wasn't at a rate of approximately ten percent per annum."* That was an important statement. He was telling them that Berkshire and Diversified would not only do better than bonds, but better than he had said in October the partners could expect from even the very best money managers.

"I think both securities should be very decent long-term holdings and I am happy to have a substantial portion of my net worth invested in them…. I think there is a very high probability that I will maintain my investment in DRC and B-H for a very long period."[6]

Separately, Buffett wrote the partners a dissertation on how to invest in bonds, again extending himself considerably more than a typical money manager would ever do. Even so, *"I had four people panic when I closed down. All four were divorced women. They trusted me, and they didn't trust anybody else. They had had bad experiences with men, and they didn't feel they could make it again if they lost what money they'd gotten. They would call me in the middle of the night and say, 'You've got to keep earning me money,' and all this sort of thing."*[7]

But he refused to act as what he considered to be a fiduciary if he could not perform to his high standards. *"Basically, if I'm the guarantor, I just can't do it, knowing how hard it was on me once,"* he says, harkening back to what he had felt at age eleven when Cities Service Preferred had disappointed his sister.

He continued working on the partnership dissolution over Christmas in Laguna Beach. He had bought his Christmas gifts with his usual efficiency. As with most things, he had a system: He went to Topps, the best dress shop in Omaha, and gave them a list of the different sizes for all the women in his life.

"I would go over, and they'd wheel out the dresses. I'd make a variety of decisions and buy presents for my sisters, Susie, Gladys, and so forth. I kind of enjoyed it. Bertie's more conservative, so I'd move her up a notch in style, and she'd accept it from me but nobody else.

"You know, clothing holds its value better than jewelry."

On December 26, after the exchange of Christmas gifts, he sent the partners another long letter, going out of his way to answer at length a number of their questions.[8] A few of the partners had been challenging him. They were deciding whether to hold the Berkshire stock. If it was such a lousy business, *why not get rid of the Berkshire Hathaway textile mill?*

"I have no desire to trade severe human dislocations for a few percentage points additional return per annum," he wrote, echoing what he had said to them in his letter of January 1969. But since the whole point of his business was to eke out a few additional percentage points per annum, this kind of rationalization would have been unthinkable earlier in his career.

What is Sun Newspapers? they asked. It's worth a buck a share, he replied, kind of skipping the rest of the economics. Then he added some famous last words. "We have no particular plans to expand in the communication field," he wrote.[9]

Why didn't you register the Berkshire Hathaway and Diversified stock so that it could be freely traded? Berkshire was so closely held that it traded "by appointment"—which made it hard for anyone to know what the stock was actually worth. Diversified did not trade at all.

A long, complicated explanation followed, in which Buffett argued that a freely traded and liquid public market for these stocks would be less efficient and less fair and "the more sophisticated partners might have an important edge over the less sophisticated partners." And it was certainly true that the more naive of his departing partners would be kept from the clutches of the manic-depressive Mr. Market, who might at times have valued the stock at a severely discounted price. It lowered the odds that a pack of brokers would talk them into selling just to buy IBM or AT&T. But it also meant that Buffett was limiting his partners' options—making it harder for them to buy and harder for them to sell—and, if they did sell, making it more likely that they would sell to him.

As general partner of the partnership, he was used to having total control of these two companies. Letting go and giving up control to the anonymous Mr. Market—he just couldn't do it. Moreover, as soon as he handed these stocks to his departing partners, for the first time his own self-interest and theirs might be at odds. This complicated rationale to justify keeping the stocks unregistered danced a little do-si-do around the fact that Buffett was the most sophisticated partner of all. It was he who would have the most important edge over his former partners. No matter how honest his intentions, the decision widened the potential conflict between his interests and theirs. The painfully earnest tone of Buffett's letter sounds like someone who has had to talk himself into thinking that he is doing the right thing. But the conflict was guaranteed to cause hard feelings. Anyone who sold to him and was later sorry could look back with hindsight and think: He had an edge on me.

Still, the Howard in Warren demanded that he present their options with scrupulous honesty. The way he answered the next question told the departing partners exactly what to expect.

Should I hold my stock? they asked.

Buffett gave as clear and direct advice as he would ever give in public about a stock.

"All I can say is that I'm going to do so," he said, "and *I plan to buy more.*"[10]

The departing partners were also going to have a third stock to deal with. In this same letter of December 26, Buffett told them that the Blue Chip stock sale had fallen through.[11] The stock had plunged in a short time from a high of $25 to $13 a share because Safeway Stores had dropped Blue Chip stamps, its customer base was eroding, and no buyer was in sight for the one-third of the business that the Justice Department had mandated it sell. Two new lawsuits had been filed against it in the U.S. District Court in Los Angeles, one by Douglas Oil Company and the other by a group of filling stations, who said Blue Chip had broken the antitrust laws—that it was a monopoly—and asked for treble damages and attorneys' fees.[12]

Yet even as Blue Chip's problems multiplied and the price fell, Buffett had been *buying* the stock instead of selling. He had bought it for Diversified Retailing and for National Indemnity. He had bought it for Cornhusker Casualty and National Fire & Marine, two little insurance companies that Berkshire had acquired. He had also bought it for himself and for Susie.

Now the partners knew that Buffett wouldn't sell, and indeed planned to hoover up more of all these stocks. They would get whichever they wanted—stock or cash. If they took the money, he would get the stock. If they kept their stock, they would still be his partners, in a sense.

In his anxiety over whether people accepted and liked him, Buffett valued loyalty more than almost anything. He looked for loyalty in all of his relationships. The dissolution of the partnership had elements of a loyalty test, as his behavior afterward would make clear.

When the partnership unwound, Buffett had more money to buy even more stock, for even while holding on to his shares—he personally owned eighteen percent of Berkshire Hathaway, twenty percent of Diversified,

and two percent of Blue Chip Stamps[13]—he and Susie had hauled home roughly $16 million in cash by the end of 1969. During the ensuing year, the shares of Berkshire and Diversified quickly began to change hands, as though a giant were shuffling a deck of cards. As he had promised—but on a scale that might have staggered his partners, had they known—Buffett used the cash he got from the partnership to buy still more Berkshire and Diversified for his own account. He used Berkshire's cash to buy its own stock, and for DRC, offered to buy the company's stock from some people in exchange for a DRC note that paid interest at nine percent.[14] He bought from people ranging from his former brother-in-law Truman Wood to his first investor, Homer Dodge, and his son Norton.[15] Those who rejected these offers had to be willing to ride along and let Buffett reinvest the earnings without ever paying out a dime—a show of trust that was important to him.[16]

Forever after, he would feel a loyalty to those who kept the stock—a loyalty of such depth and strength that the standard-model modern CEO would find it completely incomprehensible. Berkshire, he would later reflect, is still *"like a partnership. You basically have the closest thing to a private business with shareholders who identify with you and who like to come to Omaha."* He thought of partners as people who had come together out of a complex set of shared values and interests, not out of short-term economic convenience. He often said that he tried to treat his partners the way he would his family. His partners were people who trusted him, people to whom he owed a special duty. In return, he expected loyalty from them.

Yet people made their decisions for all sorts of reasons. Some needed money. Others simply invested in the Sequoia Fund after listening to Bill Ruane. Many people's brokers urged them to sell the stock of a money-gobbling textile mill. Some listened, some didn't. Some professional investors had other options and thought they were better off without these humdrum stocks. When Warren went to the West Coast in person and offered the DRC note, Estey Graham's sister Betty sold her stock; Estey didn't. Rhoda Sarnat, Ben Graham's cousin, and her husband, Bernie, decided not to sell, telling themselves, Warren's buying, and if it's good enough for him, it's good enough for us.[17] When he offered the note to his sister Doris, she refused it, thinking, If he's buying, why would I sell?

A few partners quizzed Buffett more closely in person for his opinion of how the stocks would do. He said, carefully, that he thought they would do well, but it could take a long time. People like Jack Alexander and Marshall Weinberg parsed those words, considered the fact that they were good investors themselves, and sold him part of their stock.

Munger would later call Buffett an "implacable acquirer," like John D. Rockefeller in the early days of assembling his empire, who let nobody and nothing get in his way.[18] With hindsight, some people felt hard done by, enticed, or even misled. Others said to themselves, in effect, Well, that's just Warren. I should have known.

By the end of 1970, many of the former partners had cashed out while Warren continued buying more stock. His and Susie's ownership of Berkshire had shot from eighteen percent to almost thirty-six percent. Their ownership of DRC had nearly doubled, to thirty-nine percent. As a practical matter, Buffett now controlled both.[19] He had also bought more Blue Chip, taking him from two percent to over thirteen percent ownership of its stock.

But it was clear to Susie Buffett that Warren's gyrations to get control of Diversified and Berkshire Hathaway meant that her husband's second "retirement" would be similar to his first. One reason was that Blue Chip was in the same sort of trouble as Berkshire Hathaway.[20] The business was no longer just shrinking, it was dying, so he and Munger would have to buy something new to springboard its capital.

In late 1971, after President Nixon abandoned the gold standard, the price of oil skyrocketed and half the country's oil companies suddenly stopped issuing trading stamps. With prices of everything leapfrogging day by day because of inflation, the classic retailing method of enticing customers into a store through a panoply of services and giveaways was thrown overboard. People wanted the lowest price, and retailers headed to a discount model.[21] Any chance that housewives would plan their shopping to collect enough books of trading stamps to get an electric frying pan evaporated.

Then one day Buffett got a call from Bill Ramsey, Blue Chip's president, saying that a local Los Angeles company, See's Candies, was for sale. Buffett had carved out a tiny subspecialty of studying candy companies, keeping a file on Fanny Farmer[22] and looking into the company that made Necco Wafers. But candy companies were *expensive.* So far, he had never bitten. "Call Charlie," he said.[23] Munger was in charge of Blue Chip, their West Coast business.

See's, founded in 1921 by a Canadian candy salesman, competed by using the finest quality butter, cream, chocolate, fruits, and nuts, painstakingly prepared to "See's Quality," which was better than "top quality." During World War II, rather than dilute its recipes to stretch rationed ingredients, See's had put signs in its distinctive black-and-white stores: "Sold out. Buy war bonds for Christmas."[24] The company became a California institution.

"See's has a name that nobody can get near in California," Munger told him. "We can get it at a reasonable price. It's impossible to compete with that brand without spending all kinds of money." Ed Anderson thought it was expensive, but Munger was overflowing with enthusiasm. He and Buffett went through the plant, and Munger said, "What a fantastic business. And the manager, Chuck Huggins—boy, is he smart, and we can keep him on!"[25]

See's had a tentative deal on the table already and wanted $30 million for assets worth $5 million.[26] The difference was See's brand, reputation, and trademarks—and most of all, its customer goodwill. Susie Buffett, for example, was crazy about See's, which she had discovered in California.

They decided that See's was like a bond—worth paying $25 million for. If the company had paid out its earnings as "interest," the interest would average about nine percent. That was not enough—owning a business was riskier than owning a bond, and the "interest rate" was not guaranteed. But the earnings were growing, on average twelve percent a year. So See's was like a bond whose interest payments grew.[27] Furthermore:

"We thought it had uncapped pricing power. See's was selling candy for about the price of Russell Stover at the time, and the big question in my mind was, if you got another fifteen cents a pound, that was two and a half million dollars on top of four million dollars of earnings. So you really were buying something that perhaps could earn six and a half or seven million dollars at the time, if just priced a little more aggressively."

They had to negotiate to buy the company from two people: first, Charles B. See—or "Candy Harry," as Buffett, Munger, and Guerin called him—who was managing the estate of his recently deceased older brother, Larry See. The two brothers were partners, but Larry had run the business.

"Candy Harry really didn't want to run See's. He was interested in wine and girls. He wanted to chase after girls. But, of course, he got cold feet about selling at the last minute. Rick and Charlie went to see him, and Charlie gave one of the great lectures of all time on the advantages of grapes and girls, how the highest and best use of Candy Harry's time was chasing after women."

The other person involved was "Numbers Harry," Harry W. Moore, the company's finance chief and a director. Through its lawyers, Blue Chip set about courting Numbers Harry through the financial advantages of the deal, while suggesting to Candy Harry that a sale would relieve him of potential conflicts of interest that arose from serving as his brother's executor.[28]

At the price Blue Chip offered, $25 million, the $4 million it was earning pretax would give Buffett and Munger payback of nine percent after-tax on their investment from the first day they bought it—not factoring in future growth. Adding in the $2 to $3 million of price increases they thought See's could institute, the return on their capital would rise to fourteen percent: a decent level of profitability on an investment, although it wasn't a sure thing. The key was whether the earnings would continue to grow. Buffett and

Munger came close to walking. The pickings had been so easy until now, and they had such an ingrained habit of underbidding, that it was like swallowing live guppies for them to pay the asking price.

"You guys are crazy," Munger's employee Ira Marshall said. "There are some things you should pay up for—human quality, business quality, and so forth. You're underestimating quality."

"Warren and I listened to the criticism," says Munger. "We changed our mind. In the end, they came to the exact dollar limit of what we were willing to pay."[29]

While the deal was being struck, Buffett discovered that Tweedy, Browne already owned a thousand shares of See's. Buffett ordered the firm to tender its stock to him. The Tweedy, Browne partners knew how valuable See's was and thought the price was too *low.* They resisted and debated the issue briefly with Buffett. They did not see why they should give him their See's stock. He insisted he needed the stock more than Tweedy, Browne did. Buffett won. They gave him the stock.[30]

The instant that the deal was inked and the trio of Buffett, Munger, and Guerin joined the board, Buffett threw himself into the candy business with an enthusiasm he had never displayed with companies like Dempster and Berkshire Hathaway, where he had appointed proxies. He sent boxes of See's to his fellow Grahamites. Within days, he wrote a detailed letter to Chuck Huggins, executive vice president, explaining that he had been talking to shopping-center owners around the country about opening new See's stores in locations like Colorado Springs, Fayetteville, and Galveston. He suggested that Huggins avoid Iowa, because the shopping-center executives had told him that "Iowans are generally not candy enthusiasts."[31] He gave Huggins permission to stop sending monthly boxes of candy to the long list of women whom Candy Harry had designated as his special friends. He started following sugar futures and cocoa futures, which at 58 cents a pound were approaching prices unheard of since the year of the Rockwood cocoa caper.[32]

Buffett suggested experimenting with prepackaged candy. He wanted to see results, budgets, and lots and lots of financial information. He wrote Huggins about a store in Las Vegas: "It's interesting how many more dollars we can take out of a community when we get the right sort of location. You are doing a first-class job of extending our ring of preeminence." Buffett suggested that Huggins "play around with" advertising slogans and try to come up with one along the lines of Coca-Cola's "pause that refreshes," or the "Rocky Mountain spring water" of Coors beer.[33] It was as if, over his breakfast cornflakes, Huggins could dream up an advertising slogan as compelling as Coca-Cola's.[34] One longtime employee described Buffett's Dale Carnegie management style this way: "He'd always praise you while he gave you more to do."[35]

As the bar subtly rose an inch or two with each new accomplishment, and the hurdler was reassured that he could surely leap to ever-higher heights, the effect was like a tiny stream of water: Its gentle, unrelenting pressure felt wonderful until it finally drove its recipient mad. Thus, when Buffett's attention broke, as it inevitably did, it could seem like a relief. Deceived by the initial gush of enthusiasm, Huggins signed up Buffett for several candy-industry trade magazines. Eventually, Buffett, turning his attention to some newer interest, asked for a cease-and-desist. "Charlie may have visions of becoming a candymaker someday," he wrote, "but I will continue to just read the statements."[36] He had discovered that he liked *owning* a candy company, not *running* one.

It was much the same at home. Buffett would tell someone with great sincerity, "Please come visit, I really want to see you," then bury his head in a newspaper when they arrived, apparently satisfied with their presence. But there was also the odd chance that he wanted to talk and talk, and they might go away exhausted. Susie had seen his enthusiasms come and go.

Warren was still besotted with his wife, praised her constantly in public, and cuddled her on his lap. But at home, as always, he withdrew into his private pursuits and wanted to be taken care of. Susie referred to him as an "iceberg" to one of her friends. However, nothing had really changed in their relationship since the beginning—except her feelings. He was content. He reasoned that because she loved to give, by receiving he served her. Based on their past and her behavior with people in general, and with him in particular, there was

no reason for him to think otherwise. But Susie's own desires were changing. She, the emotional vending machine, was now taking care of many more people than Warren alone; recently she had watched over Alice Buffett as she succumbed after a painful battle with cancer. Yet this time, Susie was developing a yearning to be taken care of herself.

Thus, while her husband pursued his new businesses away from Omaha or sat sunk in thought in his office, Susie spent less and less time at home, going to lunch, to dinner, or to jazz clubs in the evening with friends, and traveling more widely. She now had a number of new friends much younger than she. They admired her and returned her generosity and tenderness with openly expressed feelings that ranged from warmhearted affection to outright adoration. But they were less like adopted children and more like genuine friends, albeit friends who, like all her friends, needed her.

At home, Susie had begun paying attention to Peter, her quiet son, in a different way, treating him, too, as friend, confidant, and source of emotional support, now that he was growing up and about to enter high school.

Susie Jr. was living in Lincoln, having enrolled at the University of Nebraska. Howie, who had broken the family record for getting grounded, was in his junior year of high school and Susie now devoted herself to launching him into college; she took him to debate meets and helped him corral his energy and burnish his high school record. Warren, as usual, was happy to delegate all these responsibilities to her.

Susie did succeed in enticing Warren to really pitch in and get involved—rather than simply write checks—whenever business intersected with a cause to which he could lend his expertise. Her friend Rodney Wead and other leaders in the black community had gotten the idea of starting a minority-owned bank to enhance community pride and economic development on the North Side. Promoting "black capitalism," they came to Buffett and his friend Nick Newman, the man who had sponsored Warren in local civil-rights activities.[37]

Wead was a respected figure in Omaha, and Buffett liked banks. He had just joined the board of Omaha National Corporation, the biggest bank in town, a long-held ambition.[38] He had an automatic—and rational—predisposition toward any business where people gave money to the business faster than the company disbursed it. So he was willing to listen to Wead, but wanted to know if a minority bank was viable. Since the hope was that Community Bank would attract a diverse group of customers, he hired Peter and one of his friends to sit outside another minority bank to count how many people went inside and to classify them by race.[39] Peter's tally made Warren optimistic, so he joined an advisory board of directors for the Community Bank of Nebraska and also got John Harding from Ruane, Cunniff on the board.[40] Buffett told the founders that if they could raise $250,000 in stock from the black community, the advisory board would raise money to match it.[41] The bank set up its office in a trailer. "You're really hitting bottom, Warren," said Joe Rosenfield, "when we're asking people to put their money into something you can drive off in the middle of the night and take the whole bank with it."

Most of the managers and the board of directors—which included Buffett's baseball player friend Bob Gibson—were black, and most were financial tender-foots. To stave off disaster, Buffett went into his teaching mode and tried to educate the founders on the need for strong lending standards. The bank, he stressed, was not a charity or social-services agency. He attended monthly board meetings that stretched late into the night, but, as with the companies he owned, he was never involved in the day-to-day management.[42] Harding, however, spent every day at the bank, making sure its numbers balanced. "The management from the community was well-intentioned," Harding says, "but not financially savvy." Asked for more money to cover bad loans, Buffett said no. Wead felt Buffett "didn't understand the cycle of poverty" and "never understood his role as a wealthy man in our beleaguered community."[43] But Buffett understood the numbers; he knew the bank wouldn't help anyone by relaxing its lending standards and making uncollectible loans, which would only teach the wrong financial lesson. So the bank limped along for years without growing.

He got a chance to help in another way when Hallie Smith, a friend of Susie's, began to bring her the names of black kids who needed money because they couldn't pay for college. Susie started giving a thousand

dollars here and there. “I’ve got to ask Warren,” she said over and over. “Susie, you have money; why don’t you just pay for it?” Smith asked in amazement. “No, I can’t,” Susie always said. “It has to go through Warren.” Smith found it incredible that someone as rich as Susie allowed her husband to make every decision involving money.[44]

Thus, while Susie was in charge of the family foundation, they worked together on funding and donations. She would have given away huge sums had Warren not put on the brakes. The foundation made small grants to education, and it didn’t have professional management. To do a proper job of managing it required thinking forward: What was going to happen to all that money someday when it ended up in the foundation? Warren felt that someday was far away. Susie had a passionate desire to help in the here and now, but someone needed to strategize for the future.

A year before, Warren had had what for many forty-year-olds would have been a wake-up call. During a dinner at the Sarnats’in California, one of his fingers started to swell. He had taken a double dose of delayed-action penicillin earlier that day for a minor infection. Bernie Sarnat, a surgeon, suspected an allergic reaction. He gave Warren antihistamines and advised him to get to a hospital.[45]

Buffett didn’t want to go to the hospital. He had already had enough of sickness in 1971, after a recent bout of salmonella.[46] Besides, said Susie, he was a bad patient and had a palpable horror of doctors and hospitals, sickness and medicine.[47] He had Susie drive him back to the house they were renting for the summer. But as he continued ballooning and grew dizzy and sick, she began an urgent search for a doctor who could see Warren in a hurry. The one she finally reached insisted that they go to an emergency room immediately instead. By then Buffett was barely conscious, and the emergency room team started working to save his life.

Three days later, he was still in the hospital. He was lucky, the doctors told him. His penicillin allergy was so severe that if he took it again, he would be dead. As he recovered, Roy and Martha Tolles tried to cheer him up by bringing him a copy of *Playboy* magazine, but he was too weak to hold it himself and had Susie turn the pages for him. Warren complained, however, that she flipped the pages too fast.

Yet even after this encounter with his own mortality, back home in Omaha he remained as fixated on business as ever. Retirement, in Buffett’s special sense, meant no longer acting as a fiduciary. He would be investing as long as he was breathing. He could not help but be competitive—so much so that recently, when six-year-old Jonathan Brandt, son of his friends Henry and Roxanne Brandt, had taken him on in chess, Warren couldn’t bear it when it looked as though he was losing. As the game neared its conclusion, he began Buffetting little Jonny until he won.[48]

By the time her husband had vanquished little Jonny Brandt, Susie had cultivated an attitude of ironic detachment about Warren’s stubbornness. “Whatever Warren wants, Warren gets,” was her way of describing the man who, as his little sister Bertie had observed all those years ago, always got his way.[49] On a visit to Des Moines with a friend to hear the writer and Holocaust survivor Elie Wiesel speak at one of the local synagogues, Susie had spent hours talking to Milt Brown, who now lived there, at a dessert party at somebody’s house.[50] For some time she had been filled with feelings of regret about that interrupted relationship; she now wondered openly to close friends whether it was too late to go down a different path. While she rarely talked about her problems or showed self-pity, she acknowledged being depressed about the state of her marriage. But despite her unhappiness, she made no move to address her issues directly or to leave; rather, she rekindled her relationship with Milt. And increasingly she seemed drawn to California. She had “fallen in love” with the place they had been renting at Emerald Bay in Laguna Beach, perched fifty feet above the ocean among a group of other luxury vacation homes.[51]

Warren particularly disliked buying houses, considering money spent on them as lying fallow, not earning its keep. Susie needled him about money. “If we were rich,” she said, “you would just go up to that house, and ask the owner how much she wants for it, and pay however much she asked. But I know we’re not rich.” In their perpetual tug-of-war, however, Susie was usually able to dislodge the cash from him in the end. Buffett eventually sent Roy Tolles’s wife, Martha, a canny bargainer, to negotiate for the house. She dickered the

owner down to $150,000,[52] and when Roy Tolles called to tell Warren, he said, "I have bad news. You bought it."

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Susie set to work decorating the place in Emerald Bay with casual rattan furniture. She installed a separate telephone line for Warren, who spent most of the time when he was in California watching business news on television and talking on the phone.

The "personal concerns" and Joe Rosenfield were drawing her husband in the opposite direction from California—toward Washington, and electoral politics. The Buffetts hosted a dinner in Omaha for Senator George McGovern, the 1972 Democratic candidate for President. And Warren had given money to Allard Lowenstein, a former Congressman known as the "pied piper" of liberals, who resembled Gene McCarthy in his power to galvanize young people into activism over civil rights. He had also backed John Tunney, the "Kennedyesque" son of heavyweight boxer Gene Tunney, in his successful Senate run in California;[1] Tunney's golden-boy political career became inspiration for the movie *The Candidate,* about a charismatic politician who is "too young, too handsome, too liberal, too perfect" to win, so can afford to tweak the Establishment. "The Candidate" was the kind of politician for whom Buffett consistently fell—men with the ineffable magnetism of Hollywood stars, men whose presence stirred voters' emotions—except that he wanted his candidates to *win.*

He had an idea that he thought would be helpful to politicians, about what he called the "discomfort index"—the inflation rate plus the unemployment rate—which he passed on to Harold Hughes of Iowa, to whom Rosenfield had introduced him.[2]

"Hughes had been a truck driver and a drunk. He was big physically, had a big voice, and was one of the most significant orators in decades. He looked a lot like Johnny Cash and had that kind of voice. He arose sort of from nowhere as a truck driver to become governor of Iowa and prominent in the Democratic Party. Joe was a good friend of his, and he had become a big force in the Senate. So we were helping him and gave modest amounts of money to a presidential exploratory effort. The war was his big issue; he was very anti-Vietnam, very eloquent."

A college dropout, messianic Christian, and reformed alcoholic who was sometimes described as the "Iowa Populist," Hughes would skip a scheduled meeting at the drop of an empty vodka bottle to help someone with a drinking problem through a crisis. Several times he had successfully saved colleagues from suicide, and once—to his deep regret—he had failed. With a magnetic personality, he was considered both a dark horse and a rising star, the kind of candidate who would attract the young, the blue-collar voters, and the insurgent liberals who had voted for McCarthy; in other words, he was the great hope for a populist resurgence among a field of uninspiring candidates. At the time, no other Democratic candidate was attracting significant support. McGovern, the leader of the pack, was getting only five points in national opinion polls.[3]

In the spring of 1971, Hughes summoned "six of his closest advisers and aides," including Buffett and Joe Rosenfield, and directed them to present every possible argument why he should or should not seek the nomination.[4]

"At the end of May 1971, we had this meeting in a hotel in Washington. They were ready to go ahead on a

big scale, although it was one of those meetings where it's already predetermined what you're going to do, but you have to hold it to get organized and feel good, rally the troops.

"About a month before this meeting, Hughes had been on Meet the Press. At the very end of the show Larry Spivak said, 'Senator, there has been some talk about your interest in extrasensory perception and the occult. Would you clarify your beliefs on this?' Hughes had just started to answer, and then the program got cut off.[5]

"So when the Washington meeting was just about done I said, 'Senator, I watched that program about a week ago. If you ever get asked a question like that again, I would suggest that initially, before you even answer, point out to the questioner that there's a significant difference between ESP and the occult. Don't let the questioner, by linking those two things, nail you, so that by answering, six months from now they'll say you talked about the occult when you were really talking about ESP.'

"The floodgates opened. Hughes said, 'Ten years ago, I woke up in a bathtub in a fine hotel. I didn't know where I was. Didn't know where my family was. I didn't know how I'd gotten there, and I was of no use to anybody. Then on this earth, at that moment, I became aware, and that's what made me want to feed the hungry.' Then he said, 'That experience came from visions that I have.'

"He went on, 'I believe in precognition. My daughter had a vision of the spots on these kittens before they were born, and she described them to me. And they were born that way. And somebody else had seen a remote vision of a fire that was happening.'

"I said, 'Now, Senator, if I'm Larry Spivak, the next question I'm going to ask you is this. If your daughter tells you she has a vision of Soviets preparing to launch ICBM missiles at the United States, are you going to order a preemptive strike against the Soviet Union?'

"And he said, 'I would have to give that serious consideration.'

"I said, 'Now, Senator, I'm Larry Spivak, and you're sitting there at that table, and you've got that glass of water in front of you, and I say, "Do you believe somebody can make that glass of water move across the desk through the powers of their mind standing some feet away?"' And he said, 'Yes, I believe that can be done.'

"There were these people around the room—some of them who had their whole careers invested in the guy, like his chief of staff—and they saw themselves in the White House. And they started denying what they were hearing. They were waving their hands and saying it didn't mean what it meant. As I kept going, they were just dying. They were bursting in and saying, 'That isn't what he's saying,' and, 'Don't worry about this; it can be taken care of,' and that Abraham Lincoln had believed some of the same things. Obviously they knew some of this already. The whole thing was going down the tubes. I have never seen anything like it. It was just fascinating because of the years of preparation and these guys who had been dreaming of working for a U.S. President.

"Finally, at one point, Joe said, 'Senator, tell Warren if he asks another question like that, you're going to make him disappear.'

"So, I said, 'Senator, lookit. There are all kinds of phonies in American politics. You know, they profess to believe in God, and they say they go to church every Sunday and everything. They don't believe a damn word of it, you know. But it works. You, on the other hand, believe something very sincerely, and you've got your reasons for it, you know, but I will promise you that there's ten percent of the normal Democratic vote or some significant percentage of the votes that you can't have, just because of something you honestly believe, whereas the other guy is getting the vote because of something he doesn't believe. That's just a reality.' Meanwhile, all these guys are saying 'Don't pay any attention. What does he know?' But Hughes said that he would go away and when he came back, he would do something that would end his candidacy."[6]

And so it came to pass that ten days later Hughes gave an interview to the *Des Moines Register* in which he

said that he had recently spent an hour talking to his dead brother through a medium.[7] Thus ended the presidential ambitions of Senator Harold Hughes.[8]

* * *

The episode with Harold Hughes would prove to be the peak, the nadir, and—thanks in part to Richard Nixon's eventual reelection—for many years the end of Buffett as would-be kingmaker. But throughout it, Buffett paid careful attention to the overwhelming influence of media in politics; he wanted some of that. A childhood throwing newspapers, his friendship with *Fortune* reporter Carol Loomis, the purchase of the *Sun,* a search for other newspapers to buy, and his investment in the *Washington Monthly*—Buffett's interest in publishing had grown and compounded. He had seen the overwhelming power of television to capture attention throughout the tumultuous 1960s, from the JFK assassination to the Vietnam War to the civil-rights movement. Now, as the profitability of television became apparent, he wanted a piece of that business too.

Then Bill Ruane set him up at a dinner in New York with an acquaintance, Tom Murphy, who ran Capital Cities Communications, a company that owned broadcasting stations.

Murphy, the son of a Brooklyn judge, had grown up in the spicy chowder of New York politics before joining the Harvard Business School class of '49. Jowly, balding, easygoing, Murphy had started by managing a bankrupt TV station in Albany so frugally that he painted only the sides of the building that faced the road. Then he started to buy broadcasters, cable companies, and publishers, creating a media empire. Before long he moved to New York and recruited another HBS classmate, Dan Burke, brother of Johnson & Johnson CEO Jim Burke.

After their dinner, Murphy strategized with Ruane about how to get Buffett on his board of directors. Ruane said the way to Buffett's heart was to visit him in Omaha. Murphy promptly made the pilgrimage. Buffett plied him with a steak dinner, then drove him home to meet Susie. She must have known by now what to expect: Her husband had met another new object of infatuation. Buffett liked to show new people his totems: the office, Susie, and sometimes the train set. After the tour he and Murphy played a couple of games of racquetball in the Buffetts' basement court, Murphy running around in his oxford dress shoes. Buffett saw where he was headed before Murphy could pop the question. "You know, Tom," he said, "I couldn't become a director because I'd have to have a major position in your company, and your stock is too high."[9] Even though the rest of the market was stumbling downhill, investors were excited about television stocks. Cable television was new, and local franchises were consolidating into newly visible public companies, whipping up investors' excitement about the medium. "Lookit," he said, "you can have me for nothing, you don't need me on the board."[10]

So Murphy started calling Buffett every time he made a deal. Buffett, just over forty, was flattered and made unlimited time for Murphy, then in his mid-to late forties, even though he thought, "This guy is *old.*" But *"he understands the whole world,"* and *"I was in awe of Murph,"* Buffett says. *"I thought he was the ultimate businessman."* One evening, Murphy phoned him at home and offered him first shot at a Fort Worth TV station that was for sale.[11] Buffett was interested but, for reasons he doesn't recall, turned Murphy down—which he later called one of his greater business mistakes.[12]

What Buffett really wanted was to be a publisher. In fact, he thought he had a hot scoop, but when he gave the editors at the *Washington Monthly* the idea, they pooh-poohed it. "I'm just sure in my heart," says Charles Peters, the *Monthly'*s publisher, "that the editors were offended at the idea of having an investor call them up and tell them to do a story." They told Peters it was "no real story for the *Monthly*" and Peters did not push back. Then Buffett turned to the Omaha *Sun,* which might not have a national platform but was better than no newspaper at all. As matters turned out, says Peters, "I could have shot everybody on my staff."

What Buffett had heard was that Boys Town, one of Omaha's sacred cows, had turned into a hog. A refuge

for homeless boys, Boys Town was founded in an old mansion near downtown in 1917 by Father Edward Flanagan, an Irish priest who wanted to save orphans and rejected children from wasted lives as drifters, criminals, or addicts. *"Father Flanagan was famous around town for getting five bucks at a time,"* says Buffett, *"and as soon as he got it, he spent it on a kid. Then he got ninety dollars and he put twenty-five kids in a house."*[13] In its early years, Boys Town had always struggled financially, but it grew nonetheless. By 1934 it occupied a 160-acre campus ten miles west of Omaha complete with a school, dormitories, a chapel, a dining hall, and athletic facilities. With help from Howard Buffett, Boys Town set up its own post office in 1934 to assist in fund-raising.[14] It became an incorporated village in 1936. Then a 1938 Oscar-winning film starring Spencer Tracy and Mickey Rooney brought it national fame.

When Ted Miller, a professional fund-raiser, saw the movie, he recognized how to transform Boys Town's fund-raising appeals into a huge national campaign. Every year at Christmas time, Boys Town, which now called itself "The City of Little Men," sent out millions of letters that began, "There will be no joyous Christmas season this year for many homeless and forgotten boys…." and bore the picture the movie made famous of a street urchin carrying a tot with the legend "He ain't heavy, Father…He's m'brother."

People sent in as little as a dollar, but even small amounts coming from a tiny percentage of the tens of millions of letters that had been sent out added up to a lot of money.[15] Boys Town, then awash in contributions, expanded to a 1,300-acre campus with a stadium, a souvenir shop, a farm where the boys worked as hired hands, and vocational training facilities. Father Flanagan died in 1948, but the money kept rolling in under his successor, Monsignor Nicholas Wegner. It was now a virtual shrine that was the state's biggest tourist attraction.

"I used to hear these stories about how the U.S. National Bank put on extra people for weeks and weeks before Christmas just to handle the Boys Town money that was coming in. Meanwhile, of course, I saw the boy count coming down."

In its early years, Flanagan had searched court records and taken in a certain number of hard-core delinquents, even a few murderers. But by 1971, the home screened out the emotionally disturbed, mentally retarded, and serious juvenile offenders; it tried to limit its occupants to "homeless" boys who had no other significant problems.[16] Built to house a thousand, Boys Town now employed some six hundred people to care for its six hundred and sixty-five boys.[17] However, its gigantic institutional approach of housing boys in a same-sex facility, isolated from the surrounding community, with a custodial, even prisonlike atmosphere, had begun to seem out of date.[18] The boys moved to the signal of bells: They prayed at the first bell in the giant "chow hall," sat down to the second, ate at the third, put down their forks at the fourth whether they were finished or not, stood and prayed at the fifth, and dashed out of the chow hall at the sixth. Their mail was censored and they were allowed only one visitor a month, chosen by the staff, not themselves. They worked at menial jobs and had little recreation and no contact with girls. Boys Town emphasized low-grade vocational training: picking beans and making birdhouses.

So one evening in July 1971, at a meeting at the Buffetts' house, Warren and *Sun* editor Paul Williams discussed the Boys Town rumors and decided to commission a story on how the institution raised and spent its money. The *Sun* had already made a couple of runs at this story and was told by Boys Town, "We don't discuss our finances."[19] Now Williams took three city reporters, Wes Iverson, Doug Smith, and Mick Rood, and set them to work on the confidential "Project B," planning an elaborate investigative reporting project. [20] Having noticed that the Boys Town marketing material said it got no money from any church or from the state or federal government, reporter Mick Rood pawed through records at the Nebraska state capitol in Lincoln and found out that this was false.[21] That made them suspicious of Boys Town's other claims.

Through other basic reporting, they got the institution's property-tax records, educational records, and articles of incorporation. They found out that Boys Town had a history of strained relations with the state welfare department; Monsignor Wegner, who currently ran Boys Town, had refused to participate in program reviews by outside agencies despite the advice of his own staff.[22] Williams used a Congressional source to get a report on the Boys Town post office and learned that it sent between thirty-four and fifty million pieces

of fund-raising mail a year. This was a staggering number; fund-raisers for other organizations told them that, based on such numbers, Boys Town must be taking in at least $10 million a year. Using his financial knowledge, Buffett figured out that its operating costs could be no more than half of that.[23] Boys Town was accumulating money faster than it could possibly spend it. It had undergone a major expansion in 1948. Assuming it had piled up $5 million a year ever since, Buffett thought it must have at least $100 million in excess funds. But so far, there was no proof.

Buffett had joined the board of the local Urban League, and from that connection knew Dr. Claude Organ, a local surgeon, the only black man on the Boys Town board. Buffett thought the doctor was a decent guy.

"We had breakfast over at the Blackstone Hotel right across the street. And I talked and talked and I tried to get him to tell me. He wouldn't give me details, but he also told me I wasn't wrong. He did even better than that. He let me know there was a story there, although I couldn't get any numbers from him."

Dr. Organ began quietly steering the reporting team, helping them stay on track without disclosing confidential information.[24] The reporters had started talking to people around town but were not getting anywhere; most of the Boys Town employees were too afraid to talk. Buffett, playing newshound, roamed Omaha in his beat-up old tennis shoes, moth-eaten sweater, and pants covered with streaks of chalk.[25] *"It was a high,"* he says. *"Whatever was the male equivalent of Brenda Starr, Girl Reporter, well, that was me."* By now Warren had also adopted Susie's friend Stan Lipsey, who remained the *Sun*'s publisher, as one of his new people, going jogging with him and playing racquetball in the Buffetts' basement.

Then Warren had a brainstorm. He knew that Congress had passed a law that, among other things, required nonprofit organizations to file a tax return with the IRS.

"I was sitting there in the family room doing the Form 990 for the Buffett Foundation, and it just hit me—if I had to file a return, maybe they did too."[26]

The reporters tracked down the Form 990 to the IRS in Philadelphia and waited impatiently for twenty days for the IRS to dig it out of its files.[27]

Two days later, the package arrived in Omaha. Paul Williams had hired Randy Brown, a new assistant managing editor, in part to help coordinate the Boys Town story, bringing the team to four reporters. "My first day at work, this 990 plopped down on my desk," says Brown.[28] Buffett, who had just bought See's and was still mailing out boxes of candy to friends all over North America, nonetheless was so enthralled by Boys Town that he threw himself into helping Brown figure it out. Sure enough, Boys Town had a net worth of $209 million, which was rising at the rate of about $18 million a year, four times faster than the amount it spent to fund its operations. Buffett was elated. All his life, he had been waiting for a nun to commit a crime so he could expose the culprit by whipping out her fingerprints. Now he had used a tax return to nab a monsignor red-handed.

They moved desks, file cabinets, and three phones into Williams's basement recreation room. In the end, "we tracked everything," says Lipsey, "except, I think, two accounts in Switzerland. We couldn't break through those." The *Sun*'s reporters were stunned to find that Boys Town had an endowment three times the size of the University of Notre Dame. Conservatively stated, it was worth more than $200,000 per boy. Mick Rood took to calling it the "City of Little Men with a Large Portfolio."[29] The money machine was bringing in $25 million a year and could easily cover its costs out of investment income without raising another nickel.[30] As the story came together, the reporting team held a meeting in a room at the Blackstone Hotel, across the street from Buffett's office. Coincidentally, the Boys Town board was meeting at the same time in a room down the hallway. The reporters tiptoed in and out, hoping they weren't seen.[31] The intrigue heightened as they worked on the obvious questions: What was Boys Town going to do with all that money? Why did it need to keep raising more? The last phase of the investigation meant to find that out.

As administrator of Boys Town, seventy-four-year-old Reverend Monsignor Nicholas H. Wegner was in

charge of fund-raising. The monsignor knew by then that the *Sun* was asking questions; Boys Town had already started putting together a hasty program of reforms. But the reporters were confident that as yet he had no idea they had obtained Boys Town's tax return. Their fear was losing the story to the *Omaha World-Herald,* which might swoop down with its greater resources once it realized that a juicy bit of news was waiting to be served up to the readership. An even greater risk was that Boys Town might work cooperatively and exclusively with the *World-Herald* to launch a preemptive strike with a friendlier story.[32]

The reporters plotted how to get to Wegner and to Archbishop Sheehan, his superior in the archdiocese. Rood, a thirtyish badass with shoulder-length wavy hair and a handlebar mustache, went to see Wegner. His first reaction was pity for Wegner, whose bald, wrinkled skull craned from his cassock like the head of an ancient tortoise. The monsignor was obviously frail, the survivor of fifteen surgeries, some of them major. As the interview proceeded, however, he rambled on incautiously and also denied receiving state funds. Asked to justify the exhaustive fund-raising, he said, "We're so deep in debt all the time." Knowing that nothing of the sort was true, Rood went straight back to Williams's basement with the tape of the interview. After it was transcribed, Williams put it in a safe-deposit box.

While Rood was interviewing Wegner, Williams was trying to nail the archbishop. They had tried to schedule his interview simultaneously with Wegner's but were unable to get both on the same day. Sheehan—possibly cued in at that point—confirmed statements Wegner had made but declined to add anything more. With confirmation in hand, however, the team, accompanied by photographers, showed up at the fund-raising office, which was a separate operation located in an Omaha building marked "Wells Fargo" rather than in Boys Town. They walked in the door uninvited and snapped photos of long rows of women typing solicitation letters and thank-you notes to donors. They also managed to talk to some of the fund-raisers, who said, "Please don't mention the fund-raising operation in your article. It's easy for the public to get the wrong idea. People will think we're rich," and "We want people to think the boys send out the letters."[33]

Meanwhile, the other reporters descended on the board of directors. It was made up mostly of people with little incentive to tip over the sacred cow. They included the banker who ran the Boys Town investment portfolio, the son of the architect who built the place and who ran the firm that stood in line to do any current building work, the retailer who supplied all the boys' clothing, and the lawyer who handled Boys Town's legal affairs. Apart from the financial interests many of them had in it, all the directors enjoyed the prestige of sitting on the board of Nebraska's most respected institution while doing very little work on its behalf. Wegner considered them a nuisance and had told Rood, "They've never been of much help," and "They don't know anything about social welfare…they don't know anything about education."[34] According to Williams, whatever they may have actually known, the board's reactions to the reporters' questions ranged from "dismay to innocence or downright ignorance."[35] Another Boys Town official would later put it this way with hindsight: "The board has not been all that good in serving Father Wegner…. The board could have advised him about slowing down on the fund-raising."[36]

And that was indeed the irony. It was Boys Town's background of Depression-era poverty that had probably led Wegner to accumulate money as if the "wolf was at the door," as Randy Brown put it.[37] This same background had very likely lulled the board into overseeing Wegner's activities without questioning whether they made sense. But Warren Buffett, a product of the very same environment, who had the very same impulses, was going to bust them for it. The crime, in his eyes, was not just accumulating the money. It was piling it up mindlessly without a plan to use it. Boys Town didn't even have a *budget.*[38] The sin to Buffett was an abdication of fiduciary responsibility, the failure to manage money responsibly on others' behalf.

The reporters worked feverishly on the story all weekend, Buffett and Lipsey reading copy as it progressed. *"We were this little nothing weekly paper,"* says Buffett, but they intended to meet the journalistic standard of a top national daily. Finally they all trooped over to Paul Williams's living room, spread everything out on the floor, and tried to figure out headlines and captions. The story's banner lead asked: "Boys Town: America's Wealthiest City?" An eight-page special section with sidebars, it led off with a kicker in the form of a Bible verse, Luke 16:2—"Give an account of thy stewardship."

On the Wednesday afternoon before publication, Williams sent the story to the Associated Press, UPI, the *Omaha World-Herald,* and television stations. The next day, March 30, 1972, would be recalled by Buffett as one of the greatest of his life. The story not only fulfilled his wish to run a business as a church, but the section opened with a Bible-quoting headline about a favorite concept, stewardship—the lens through which he now viewed duty, moral obligation, and the responsibility that went along with a position of trust. By the end of that week, the wire services had broken the Boys Town story across the country and exposed a national scandal.[39] On Saturday, the Boys Town board held an emergency meeting and decided to cancel all fund-raising, including the spring mailing for which envelopes had already been partly stuffed.[40] In a new era of investigative reporting, the drama was of such magnitude that it gave an immediate push to reforms in the way nonprofits were governed all over the United States. The story was picked up by *Time, Newsweek, Editor & Publisher,* and the *LA Times,* among others.[41] An informal survey of twenty-six boys' homes showed that immediately after the exposé, more than a third of them said that their fund-raising efforts were affected.[42]

But Monsignor Francis Schmitt, an understudy of Wegner's who had begun assuming some of his duties, quickly circulated a letter to Boys Town supporters calling the *Sun* "a kind of Shopper's Guide." It said, "There can only have been yellow journalism, prejudice, jealousy, and, for all I know, bigotry involved in the story," suggesting that the motive was anti-Catholic bias. In fact, the reporters had bent over backward to avoid such a bias. Moreover, Schmitt said, the story was full of "snide innuendos" that cut into his vitals all "because of a cheap editor of a cheap paper, whose owner is himself a millionaire many times over."[43] Wegner also remained unrepentant. "Boys Town," he said, "will still be here when that yellow rag, what's it called"—the *Sun*—"is forgotten."[44] To people who wrote asking about the Boys Town story, Wegner was sending out a form letter saying the *Sun* story was spreading "sensational views of local issues," and that while at the present time, Boys Town was not seeking donations, as "our properties and facilities have multiplied in value…SO HAVE OUR COSTS."[45] The letter was printed on the usual stationery, with "your contribution is an allowable income tax deduction" and "we employ no solicitors or fund-raising organization—we pay no commissions" at the bottom.

* * *

A couple of months after the *Sun*'s coverage appeared, the Omaha Press Club put on its annual show. A team of singers got up and entertained the Who's Who of Omaha (and more than a few from out of town). Their song satirized Monsignor Wegner and Boys Town:

We started up a home for boys,
'Bout fifty years ago;
We asked for contributions
And the dough began to flow.
We asked for all the charity
The traffic would allow;
Our homeless waifs were finally
Quite liberally endowed.
But then we had a tragedy,
Our bankroll was exposed,
And thanks to Warren Buffett
All those pocketbooks were closed.

(chorus)
Who threw the monkey wrench
In Father Wegner's poor box?
Now we're as popular
As if we had the smallpox.
It's a dirty trick, you know,

Why did Warren Buffett throw
The monkey wrench in Father Wegner's poor box?

Some folks came out from Hollywood,
To make a movie show;
Mickey Rooney showed the people
Where their cash should go.
Spencer Tracy played his part
With Roman piety;
We made enough off popcorn sales
To buy AT&T.
We passed the tin cup all around
To land on Easy Street;
Then Warren Buffett came along
And read our balance sheet.

We built palatial cottages,
To give our boys some class;
Instead of fish on Friday
We had pheasant under glass.
We talk a lot of poor mouth
But we're never in the red;
It figures out to something
Like 200 grand a head.
Buffett blew the whistle
On a spiteful, jealous whim;
He must have figured we were getting
Just as rich as him![46]

Buffett had never had so much fun reading a tax return, and wanted to keep the momentum going to make sure that, contrary to the monsignor's prediction, the *Sun* would not be forgotten. The thought of a Pulitzer, the grandest prize in journalism, "started my adrenaline flowing," he said.[47] He got Paul Williams working on the paper's submission for the prize. Williams prepared a detailed outline for Buffett, who had some strategic thoughts of his own, drawn from a long history with the newspaper business. *"In a country where economics inevitably lead to one-daily towns,"* Buffett wrote, the *Sun*'s submission should stress *"the necessity for another printing press."* Another paper, even a weekly suburban, adds *"value in terms of worrying Goliaths"*—whereas the dominant paper may fear to do so, because it *"may look silly."*[48]

Mick Rood wrote a follow-up piece about Boys Town—a good story that was also meant to keep worrying the Goliath—that drew on some racially bigoted comments Father Wegner had made in his interview, as well as certain disclosures he had made about the boys growing marijuana at Boys Town down by the lake. Paul Williams spiked it, saying the *Sun* had to take the high road, in part not to jeopardize future stories and in part to avoid looking anti-Catholic. Also, at this time the Pulitzer was pending. "Too bad," wrote Rood in a note to himself.[49]

The *Sun* team knew it had strong competition for the Pulitzer. It would be up against the series of articles penned by *Washington Post* investigative journalists Carl Bernstein and Bob Woodward, who had followed what appeared to be a minor burglary inside the Watergate offices of the Democratic National Committee during the 1972 Nixon-McGovern election campaign, and uncovered what turned out to be an enormous political spying and sabotage operation. But the *Sun* would fare very well in the prizes awarded for 1972 journalism.

In March 1973, Sigma Delta Chi, the national journalism society, gave the *Sun* its highest award for public service; the *Washington Post* won for investigative reporting. During the cocktail hour before the awards ceremony, as Stan and Jeannie Lipsey milled among the guests, waiting to catch a glimpse of Woodward and

Bernstein, Jeannie nudged her publisher husband in the ribs and said, "I'll make you a bet. I'll bet you a hundred dollars that you'll win the Pulitzer." A few weeks later came the phone call. The *Sun* had won a Pulitzer for local investigative specialized reporting, sending the newsroom into a jubilation of cheers and applause.[50] This time it had swapped awards with the *Washington Post,* which won the Pulitzer for public service. Susie Buffett threw a party to celebrate, fixing an oversize pretzel that spelled out "Sun Pulitzer" to the paneling in the family room. In part they were also celebrating some tangible results. Boys Town had started throwing money at projects and quickly announced a center for the study and treatment of children's hearing and speech defects. It was *something,* and it would do some good. Boys Town from now on would have a budget and would disclose its financial status publicly.

Instead of the annual Christmas fund-raising letter that year, there was only a Christmas card expressing thanks, as well as a letter from Archbishop Sheehan, announcing with "deep regret" that Monsignor Wegner would retire "due to his failing health." While he was genuinely frail and ill, some cynic at the *Sun* circled this before filing it and added, "due to something he read."[51]

The following Easter, 1974, Jet Jack Ringwalt sent Warren a copy of the letter he had received from Father (no longer Monsignor) Wegner. Instead of whining that there would be no joyous Christmas for the homeless, abandoned boys, the letter talked at length of the costly new projects that Boys Town had just built and was going to build and the experts who had been hired "to assist us in planning for our future."[52] While down from previous highs, the contributions that rolled in after the letter was sent came to $3.6 million, never mind the scandal.

Thus, the story ended as such things usually do: a mixed triumph with a certain amount of ass-covering and reforms that came about because of public embarrassment rather than an institutional change of heart. While Boys Town eventually turned over its board of trustees and management, it did not happen easily or overnight, and the conflicts of interest on the board also did not disappear, at least not immediately.

And even the *Sun*'s glory proved short-lived. It was failing financially, and its muckraking editor, Paul Williams, retired not long after the Pulitzer. One by one the investigative reporters dispersed to other papers and the wire services. Unless Buffett was willing to run it as a money-losing hobby, the economics of the *Sun* couldn't support a future like its past. And the *Washington Monthly* had already proven that—even for great journalism—Buffett would not do that. In a sense, the *Sun* was one of his cigar butts, from which he had been able to enjoy one huge personal puff.

In another sense, the temporary boost of fame he had gotten from the *Sun* was a sidebar compared to something else. Buffett had recently exploded in investors' minds for a different reason. Under the pen name Adam Smith, a writer named George Goodman had published *Supermoney,* a fire-and-brimstone critique of the 1960s stock-market bubble, which sold more than a million copies.[53] It demonized the fund managers who had ascended to the stratosphere almost overnight and then crashed, in a parabola as dramatic as if their engines had suddenly run out of rocket fuel. They were featured as devil-horned, pitchfork-bearing tempters of the ordinary Joe Investor. But when it came to Ben Graham and his protégé Buffett, Goodman knew he had met a couple of very different characters, and he devoted an entire chapter to the two of them, in which he captured them brilliantly.

Goodman respected the Latin-and French-spouting Graham and had been highly entertained by him, but when Graham was quoted in *Supermoney,* he sounded painfully affected, speaking in a style that bordered on self-satire. Buffett, however, appeared as a blue-ribbon, All-American, Pepsi-quaffing, investing fundamentalist, one who plied his trade in glorious solitude, far from the Lucifers of Wall Street. Presented alongside Graham this way, Buffett came across like a two-inch-thick T-bone next to a dab of goose liver pâté on a plate. Everyone went for the steak.

One hundred percent of the book's reviewers mentioned Buffett. John Brooks, dean of the Wall Street writers, described him as a "Puritan in Babylon" among the "greedy, sideburned young portfolio wizards."[54] Overnight, he was a star.

Even in Omaha, *Supermoney* created a minor sensation. Buffett had been crowned as the king of investors in a best-selling book. After fifteen years, the jury had come in. He was now "*the* Warren Buffett."

36

Two Drowned Rats

Omaha and Washington, D.C. • 1971

Buffett had craved a niche in the publishing big leagues for quite some time. Since newspapers, which were mostly family-owned businesses, had recently gone through a spasm of selling themselves and now looked cheap, he and Charlie Munger had worked ceaselessly to buy one. They had tried, unsuccessfully, to buy the *Cincinnati Enquirer* from Scripps Howard,[1] and Buffett had tried to buy another Scripps company, the New Mexico State Tribune Company, which published the *Albuquerque Tribune,*[2] for Blue Chip, but that bid failed too.

In 1971, Charles Peters, publisher of the *Washington Monthly,* had gotten a call from Buffett, asking him to introduce Buffett and Munger to *Washington Post* publisher Katharine Graham. Buffett said that he and Munger had bought some stock in the *New Yorker* and wanted to buy the whole magazine. They had talked to Peter Fleischmann, chairman of the *New Yorker* and a large shareholder, who was willing to sell, but they wanted a partner in the purchase and thought the *Washington Post* might be the right choice.

Peters wasn't surprised to get the call. Aha, he thought, Buffett must be interested in the *Post* stock now that the Graham family is taking the company public. Perhaps all the recent public offerings of newspapers were why he continued to own the *Washington Monthly.* If the *Monthly* turned out to be an entry point for making a killing on the *Post,* then the failed investment could be justified financially.

On the brink of the *Post*'s initial public offering in 1971,[3] Peters set up the meeting to explore a partnership to buy the *New Yorker.* Buffett had never bought public offerings, which he felt were overhyped and overpromoted; they were the opposite of the unloved cigar butts or great-company-at-the-right-price choices like American Express or See's Candies that he and Munger sought. So Buffett had no plans to buy *Post* stock, but he and Munger flew to Washington and went to meet Kay Graham at the *Washington Post* headquarters, a monolithic eight-story 1950s white building with the paper's name in its distinctive Gothic-style typeface above the door.

Though publisher of the *Post,* Kay Graham had come late in life to running a newspaper. When she took it over eight years earlier, at age forty-six, she was a widow with four children and had never worked in a business. Now she found herself preparing for the challenge of running a public company under the unremitting scrutiny of investors and the press.

"Charlie and I met her very, very briefly, for twenty minutes. I had no idea what she was like. The idea that she'd be frightened of her own business—I didn't know any of that. It was raining like hell, so we came in looking like a couple of drowned rats, and you know how we dress anyway."

As they sat in her office, *"She couldn't have been nicer to us. Then she suggested we go see Fritz Beebe, the chairman of the board, who was really the guy kind of running the place up in New York, which we did. But we weren't going anyplace with it."*

At the time, Graham had no interest in the *New Yorker* purchase that had prompted the visit—and there was nothing in the meeting to suggest that she and Buffett would one day be great friends. He made no impression

on her whatsoever. For his part, he did not find her particularly attractive—even though she was a handsome woman—for she lacked the soft femininity and caretaking qualities of his ideal, Daisy Mae. Moreover, their backgrounds were worlds apart.

Katharine Graham, born just before the twenties started to roar, was the daughter of a rich father, investor and *Post* publisher Eugene Meyer, and a self-absorbed mother, Agnes—"Big Ag," as the family called her behind her back because of her imposing stature and, as the years passed, increasing girth. Agnes, who had married her Jewish husband at least in part for his money, was passionate about Chinese art, music, literature, and other cultural interests, but indifferent to her husband and their five children. The family shuttled among their pinkish-gray granite mansion in Mount Kisco, overlooking Westchester County's Byram Lake; their full-floor apartment on Fifth Avenue in New York City; and a large, dark, red-brick Victorian house in Washington, D.C.

Katharine spent her early years under the rule of Agnes at the Mount Kisco estate, which the family referred to as the "farm" because it contained a large orchard, garden, dairy, and an old farmhouse where the farmhands lived in bachelor quarters. Every vegetable and piece of fruit on the dining table came from the surrounding fields and orchards. Kay ate meat from the farm's own pigs and chickens and drank milk from its Jersey cows. Lavish bouquets of flowers appeared on the tables of each of the family's houses every day, even in Washington, sped there from the Mount Kisco gardens. The Westchester mansion's walls were covered with magnificent Chinese paintings; it boasted every status symbol of the era: an indoor swimming pool, a bowling alley, tennis courts, a massive pipe organ.

Kay chose her riding horses from a stable of steeds handsome enough to draw Cinderella's carriage and was taken on incredible vacations, once visiting Albert Einstein himself in Germany. When Agnes took the children camping to teach them independence, they roughed it accompanied by five ranch hands, eleven saddle horses, and seventeen packhorses.

But the children had to make an appointment to see their own mother. They gobbled down their meals because Agnes, served first at the long dining-room table, began eating as the footmen moved around serving everyone else—and had the others' plates snatched away the instant that she herself had finished. By her own admission, she did not love her children. She left them to be raised by nannies, governesses, and riding instructors; she sent them off to summer camps, boarding schools, and dancing class. Their only playmates were one another and the servants' children. Agnes drank heavily, pursued flirtatious and obsessive (although apparently platonic) relationships with a number of famous men, and treated all other women as inferior, her own daughters among them. She compared Kay unfavorably to America's sweetheart, Shirley Temple, the singing, dancing, smiling child star with golden blond ringlets.[4] "If I said I loved *The Three Musketeers,*" Graham recalled, "she responded by saying I couldn't really appreciate it unless I had read it in French as she had."[5] Kay was trained like a hybrid orchid, beautifully pampered, savagely critiqued for her show potential, and otherwise largely ignored. Still, by the time she reached the Madeira School in Washington, D.C., she had somehow managed to learn the skills of popularity and was elected head of her class—most surprising at that time and in that place because she was half Jewish.

In Protestant Mount Kisco, the family had been socially shunned. Since at Agnes's insistence the children were raised as Protestants—albeit nonobservant ones, for the most part—and were not even aware that their father was Jewish, Graham did not understand the reason for their isolation. Indeed, she would later be stunned at Vassar when a friend apologized because someone had made a bigoted remark about Jews in front of her. She reflected with hindsight that this clash in her bloodlines "leaves you either a good survival capacity or a total mess."[6] Or, perhaps, both.

From her mother, Kay learned to be ungenerous about small things, fearful of being cheated, unable to give things away, and certain that people were trying to take advantage of her. By her own description, she also grew up inclined to be bossy.[7] Yet others saw in her qualities of naiveté, candor, generosity, and open-heartedness that she herself seemed unable to acknowledge.

She felt closer to her awkward, distant, yet supportive father. To Eugene Meyer, she attributed her zeal for

tiny economies—compulsively turning out lights, never wasting anything. Her father's talent for such economies, along with great infusions of time, money, and energy, had been crucial in keeping the ailing *Washington Post* alive while Kay was growing up, when the paper ranked fifth in a field of five in the capital area, far behind the dominant paper, the *Washington Evening Star*.[8] But when Meyer began thinking of retiring in 1942, Kay's brother, Bill, a doctor, had no interest in running an unprofitable newspaper, so the duty fell to Kay and her new husband, Philip Graham. Kay was besotted with Phil, and so convinced of her own lowliness that she accepted as a matter of course her father's decision to sell Phil nearly two-thirds of the *Post*'s voting stock, giving him absolute control. Meyer did it because, he said, no man should have to work for his wife. Kay got the remainder.[9]

Despite Meyer's zeal in keeping the paper alive, when Phil Graham took it over, matters were out of hand. Certain people in the newsroom and the circulation department spent most of the day playing the horses and drinking. When Meyer was out of town, the first thing the office boy did every morning was bring one man a half pint of booze and the *Daily Racing Form*.[10]

Phil Graham got the place shipshape, gave it an identity by fostering vigorous political coverage, and stamped its editorial page with a strong liberal voice. He bought *Newsweek* magazine and several television stations, and proved to be a brilliant publisher. But over time, drinking binges, a violent temper, unstable moods, and a cruel sense of humor showed themselves, with particularly devastating effects on his wife. When Katharine gained weight, he called her "Porky" and bought her a porcelain pig. She thought so little of herself that she found the joke funny and put the pig on the porch for display.

"I was very shy," she said. "I was afraid to be left alone with anybody because I'd bore them. I didn't speak when we went out; I let him speak…. He was really brilliant and funny. Marvelous combination."[11]

Her husband played on her fears. When they were out with friends, Phil would look at her in a certain way when she was talking. She sensed that he was telling her that she was going on too long and boring people. She was convinced that she occupied some lesser sphere and could never meet the expected—but impossible—standard of living up to Shirley Temple. No wonder that, over time, she ceased speaking in public and let Phil take center stage.[12] She grew so insecure that she vomited before parties. And by some accounts, the way Phil treated her in private was even worse.[13] Her four children grew up seeing their father tear their mother apart. He would drink and build up to a violent rage; then she froze and shut down.

She never confronted Phil, even when he embarked on a series of affairs with other women that supposedly included swapping mistresses with Jack Kennedy.[14] Instead, she defended him, swept away by the force of his personality, wit, and brains. The more cruelly he behaved, the more she seemed to want to please him.[15] "I thought that Phil literally created me," she said. "My interests were better. I was surer of myself."[16] He thought she was lucky to have him, and she did too. When he finally left her for *Newsweek* staffer Robin Webb, she was stunned by the response of one of her friends, who said, "Good!" It had never occurred to her that she might be better off without Phil. But then he began trying to take the paper away from her, since he controlled two-thirds of the stock. Kay was terrified that she would lose her family's newspaper.

In 1963, in the midst of her battle to keep the paper, Phil Graham suffered a spectacular public breakdown, was diagnosed with manic depression, and committed himself to a mental institution. Six weeks later, he talked his way out of the hospital for a weekend leave. He came home to Glen Welby, the Grahams' sprawling rural Virginia farm retreat. On Saturday, after eating lunch with Kay, he shot himself in a downstairs bathroom while she was upstairs taking a nap. He was forty-eight.

His suicide left Kay with the paper, no longer threatened with its loss. She dreaded being in charge, but even though some suggested that she sell, she was absolutely determined to keep it; she saw her stewardship as a holding action until the next generation was ready to take over. "I didn't know anything about management," she said. "I didn't know anything about complicated editorial issues. I didn't know how to use a secretary. I didn't know big things and small things and, worse still, I couldn't tell them apart."[17]

While Graham could project a determined confidence at times, at work she began to rely on other people as she constantly rethought and questioned her own decisions. "I just kept trying to learn the issues from the men who were running things," she wrote. "And of course, they were all men." She never trusted them or anyone else—but, of course, no one close to her had ever treated her in a trustworthy way. She would tentatively extend her confidence to someone, then second-guess herself and pull back. Alternately enthused, then disenchanted with her executives, she gained a fearsome reputation in the office. And all the while, she never stopped seeking advice.

"As decisions would come along in the course of a day where she was very uncertain how to proceed," says her son Don, "she was literally reinventing the wheel. She would be called upon to be a top manager of a company when she'd never been a bottom manager of a company. She hadn't watched people who were CEOs, except the way you watch your husband or your dad.

"And so she had the great habit, when she faced what she thought of as a difficult decision—it usually *was* a difficult decision—she would call directors, she would call friends whom she thought might have a relevant experience. It was partly getting advice to help her handle the problem. And it was partly trying out the friends as advisers to see who seemed to make sense and whom she'd call the next time."[18]

Early on, Graham began to lean on Fritz Beebe, a lawyer and the chairman of the Washington Post Company, finding him a strong source of support as she struggled with her new job.[19] By then, the *Post* was the smallest of three remaining Washington newspapers, with $85 million in yearly revenues and $4 million in profits.

Gradually she grew into her role. She and her managing editor, Ben Bradlee, had a vision of a national paper that would set a standard to rival the *New York Times.* Bradlee, born the WASPiest of Boston WASPs, a Harvard graduate whose Brahman of a first wife was the daughter of a U.S. Senator, had worked closely with intelligence agencies before turning to journalism. He was funny, brilliant, had an unexpected saltiness that belied his background, brought out the best in Graham—and encouraged reporters to thrive in an informal atmosphere of ambition and competition. Before long, the *Post* had developed a reputation for solid journalism. Three years after taking over the paper, Graham made Bradlee executive editor.

* * *

In 1970 Kay was freed from the tyranny of her mother, Agnes, who died in bed while Kay was visiting Mount Kisco on Labor Day weekend. Kay went up to her mother's bedroom to check on her after the maid told her that Agnes had not rung for her breakfast, and found her in bed, "weirdly inert and already cold," Graham wrote in her memoir. She did not cry; while superficial books and movies could turn her into "a weeper" and she sometimes cried when angry or hurt—as she explained in her book—she never cried when anyone died.[20] And while the death of Agnes Meyer relieved Graham of a burden, it did not cure her insecurities.

In March 1971, amid continuing protests of the Vietnam War, the *New York Times* was leaked a copy of the Pentagon Papers—a top-secret and ruthlessly honest history of the decision-making that led the country into and through Vietnam that had been commissioned by former Defense Secretary Robert McNamara.[21] Comprising forty-seven volumes totaling seven thousand pages, the Pentagon Papers showed conclusively that the government had perpetrated a vast deception on the American public. The *Times* published its account of the scheme on Sunday, June 13.

On June 15, about two weeks after Buffett and Munger had gone down to Washington to meet Graham in her office, a federal district court enjoined the *Times* from publishing most of the Pentagon Papers. It was the first time in history that a U.S. judge had restrained publication by a newspaper, raising a major constitutional question.

The *Post,* mortified at having been scooped, was determined to get its hands on the Pentagon Papers.

Through informed guesswork and contacts, an editor tracked down their source, Daniel Ellsberg, an expert on the Vietnam War. The editor flew to Boston with an empty suitcase and brought the Pentagon Papers back to Washington.

By then Graham had mastered some of the basics of being a publisher, though she remained deferential and ill at ease. Further, "we were in the middle of going public [but] we hadn't sold the stock," she recalled. "It was a terribly sensitive time for the company, and we could have been very badly hurt if we'd been to court or criminally enjoined…. The business people were all saying either don't do it or wait a day, and the lawyers were saying don't do it. And the editors were on the other phone saying you've got to do it."

"I would have had to quit if we hadn't published it," says Ben Bradlee. "A lot of people would have quit."

"Everybody knew we had those papers," Graham wrote later. "It was terribly important to maintain the momentum after the *Times* had been stopped, because the issue was the government's ability to prior-restrain newspapers. And I felt what Ben said, that the editors would really be demoralized, that the news floor would be demoralized, that a great deal depended on our doing it."

Notified on the terrace of her Georgetown mansion that beautiful June afternoon that she had a call, Graham went into her library and sat down on a small sofa to pick up the phone. *Post* chairman Fritz Beebe was on the line. He told her, "I'm afraid you are going to have to decide." Graham asked Beebe what he would do, and he said that he guessed he wouldn't.

"Why can't we wait a day?" said Graham. "The *Times* discussed this for three months." Now Bradlee and other editors joined the call. The grapevine, they said, knows we've got the papers, journalists inside and out are watching us. We've got to go, and we've got to go tonight.

Meanwhile, in the library, Paul Ignatius, president of the *Post,* was standing at Graham's side, saying, "each time more insistently—'Wait a day, wait a day.' I had about a minute to decide."

So she parsed Fritz Beebe's words and his lukewarm tone when he said that he guessed he wouldn't and concluded that he would back her if she chose a different course.

"I said, 'Go ahead, go ahead, go ahead. Let's go. Let's publish.' And I hung up."[22]

In that moment the woman who reached for the advice of others on every decision realized that only she could choose; when forced to reach inside to form her own opinion, she found that she did know what to do.

Before the afternoon was out, the government filed suit against the *Post.* The following day, June 21, Judge Gerhard Gesell ruled in the newspaper's favor, refusing to grant an order restraining it from publishing the Pentagon Papers. Less than two weeks later, the Supreme Court upheld him, saying the government had not met "the heavy burden" required to justify, on the grounds of national security, restraining publication.

With the Pentagon Papers, the *Post* transcended its status as a decently run business that produced good local journalism and began its transformation into a great paper of national importance.

"Her skill," wrote reporter Bob Woodward, "was to raise the bar, gently but relentlessly."[23]

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Newshound

Washington, D.C. • 1973

Nearly two years later, the *Post* was deep into reporting the Watergate story, while in Omaha, the *Sun*'s reporters were basking in the glow of the Boys Town exposé. Reporting on Watergate, which began in June 1972 when the break-in occurred, had gradually picked up steam as Woodward and Bernstein linked a check made out to one of the burglars to the Nixon re-election campaign. The scandal unfolded over many months as a secret FBI informant, Mark Felt—code-named "Deep Throat" and known to no one but Bob Woodward until thirty-three years later—funneled information to them about CREEP, the Campaign to Re-elect the President, and about various CIA and FBI officials involved in funding and aiding the burglars. But other papers largely ignored the scandal, as did the public. Nixon was re-elected by a huge majority that fall, having vehemently denied any knowledge of or involvement in the break-in. The Nixon White House, which was already actively hostile to the *Post* because of the Pentagon Papers episode, dismissed Watergate as "a third-rate burglary attempt" and kept up a barrage of threats and harassment against the paper. Attorney General John Mitchell, who had managed Nixon's election campaign, told Woodward and Bernstein that "Katie Graham's gonna get her tit caught in a big fat wringer" if the *Post* continued to report the story. A Wall Street friend with administration contacts advised her "not to be alone."

In early 1973, a Republican fund-raiser who was a friend of Richard Nixon challenged the renewal of the *Post*'s two Florida television licenses. The challenge, which was probably politically motivated, threatened half of the company's earnings, an attack on the heart of the business.[1] In response, WPO stock plunged from a high of $38 to as low as $16 a share.

Yet even with a Pulitzer in hand, the Watergate burglars convicted and sent to prison, and a growing body of evidence linking top Nixon administration officials to the break-in, Graham kept second-guessing herself about whether the paper was being set up or misled.[2] Most of her time and attention now went to fighting these fires. Her chairman, Fritz Beebe, was ill with cancer and declining rapidly,[3] and still in need of an authority figure to rely upon, she increasingly turned toward another of her board members, André Meyer, senior partner of the investment bank Lazard Frères.

Vindictive, ruthless, secretive, snobbish, and sadistic, Meyer "crushed other people's personalities." He was known as "the Picasso of Banking" and a man with "an almost erotic attachment to money," and called the greatest investment banker of the twentieth century, "a genius of the art of acquisitiveness," according to his colleagues.[4] He was also the well-connected man who had warned Graham during Watergate not to be alone. He "had an ability to relate to people at times of distress in a way that created loyalty and exposed him to grand opportunities in the future," said a former Lazard executive.[5] He soon took up Graham socially as well and was seen with her at restaurants, parties, and the theater.

Beebe died on May 1, 1973, and a week later his lawyer, George Gillespie, who was also Graham's personal lawyer and one of her advisers, began settling his estate. Gillespie got wind that a big investor out in Omaha had been buying *Post* stock, so from his summer house in Maine, he called Buffett and offered a block of fifty thousand of Beebe's shares that needed to be sold. Buffett snapped it up.

If he could, at the right price, Buffett would have bought almost any newspaper in sight for Berkshire Hathaway. When the bankers from Affiliated Publications, publisher of the *Boston Globe,* were struggling to place its deal, Buffett broke his unwritten rule against buying public offerings and took four percent of Affiliated at a discount price. Berkshire wound up its largest shareholder. He grabbed stock in Booth Newspapers, Scripps Howard, and Harte-Hanks Communications, a San Antonio–based chain. The *Sun*'s elevated status as a Pulitzer Prize winner enabled him to network his way through the newspaper world, talking with publishers as one of their peers. He chatted up the owners of the *Wilmington News Journal,* hoping to buy the paper. Alas, while newspaper stocks were cheap because investors failed to see their value, newspaper owners were not so blind. Competing with them, Buffett and Munger's efforts to buy whole newspapers had all come to naught.

Still, by late spring 1973 Buffett had accumulated more than five percent of the *Washington Post* stock.[6] He

now sent a letter to Graham. She had never lost her terror that somehow her company would be taken away from her, even though Beebe and Gillespie had structured the *Washington Post*'s stock in two classes so that an unfriendly buyer could never do that.[7] Buffett's letter told her that he owned 230,000 shares and meant to buy more. But instead of legalistic boilerplate, he wrote a highly flattering, personal missive that linked their common interest in journalism and stressed the *Sun*'s Pulitzer. The letter began:

This purchase represents a sizable commitment to us—and an explicitly quantified compliment to the *Post* as a business enterprise and to you as its chief executive. Writing a check separates conviction from conversation. I recognize that the *Post* is Graham-controlled and Graham-managed. And that suits me fine.[8]

Nonetheless, Graham panicked. She reached out for advice.

"At times," Jim Hoagland, one of her reporters, wrote, Graham was "capable of being taken in by mountebanks of the moment," and "particularly if they were adroit at a certain kind of kidding flattery."[9] She was a "pretty dreadful snob" and "too easily impressed by people with big titles," according to another reporter.[10] Moreover, while she instinctively pursued women's equality—she had given the seed money to Gloria Steinem for *Ms.* magazine, she was known to chide men for referring to professionals as if all members of the class were men, and she once hurled a paperweight at a *Post* executive who refused to allow girls to deliver papers—deep inside she still thought that only men knew anything about business. Thus, when André Meyer was "irate" and told her that Buffett meant her no good, she took him seriously.[11] And it also carried weight when another of Graham's acquaintances, Bob Abboud, a fellow trustee at the University of Chicago, warned her away.

"André Meyer really wanted to think he controlled everything. And it was easy when he got a woman like Kay—he would make her feel like she'd better not go to the bathroom without checking with him. He had that style. André kept referring to me as her new boss because I bought this stock. You had all these guys who could see their power being diluted if I got in the inner circle.

"She was very sensitive to the idea that anyone would manipulate her, for political purposes or for the paper, which is understandable. She was used to everybody in the world trying to use her. But what you could do with Kay is you could play on her fears. If you wanted to work her over, you could make her feel so insecure. And she knew you were doing it to her, but she couldn't resist it."

"She would second-guess herself," says fellow *Post* board member Arjay Miller. "She would fall in and out of love with people. She could be bullied. She would get overwhelmed by certain people in business. She would meet somebody and be sort of dazzled with them for a little while and think they knew all the answers. She thought men knew all about business and women didn't know anything. At the bottom, that was the real problem. Her mother told her that and her husband told her that, over and over and over and over again."[12]

Graham tried to find out what she could about Buffett. She barely remembered him from their brief encounter two years earlier.[13] She and her colleagues bought copies of *Supermoney* and devoured the chapter on him, wondering what the man from Nebraska had in store for them. Those unfriendly to Buffett made sure she also saw an unsigned article in the September 1 issue of *Forbes* about Buffett's purchase of stock in San Jose Water Works, which cast a shadow on the sunny portrait that *Supermoney* had painted of the mystery man.

This *Forbes* piece struck a very different tone than the glowing article the magazine had published two years before. It described a San Jose Water Works shareholder who wanted to unload his stock. He went to a company director who sent him to Buffett. The article insinuated that Buffett must have known that a deal was brewing for the city to take over the water works at a higher price than he was paying for the stock—simply because a director had referred a seller to him. He had connections, so he must have known something—right? The article ended: "…the American Stock Exchange and the San Francisco office of the Securities Exchange Commission are making inquiries and asking questions."[14]

But there was nothing illegal about a director referring a seller of stock to a buyer.[15] Indeed, no deal ever took place. Yet to anyone checking him out, this would be the most prominent, public, recent mention of his name apart from *Supermoney*.[16] Buffett felt like a cat's scratching post. If this cascaded into a series of expanding stories, it could wreck his newly gilded reputation even though the story had no substance to it. He was not the type to storm and shout, however, but to brood and plan. Thus, while angry, he was too clever to confront the magazine and denounce its nameless reporter. He wanted retribution and vindication, so he used the opportunity to bring himself to the attention of magazine publisher Malcolm Forbes, writing him an artfully worded letter in which he talked of the pitfalls of journalism, complimented him on the magazine's good "batting average" in investigative reporting over the years—to which the article on San Jose Water Works was some kind of unfortunate exception—and mentioned the *Sun*'s Pulitzer.[17] On the same date he wrote a crisper letter, sans the flattery, to the editor, stating the facts to support his innocence.

Sure enough, *Forbes* ran a correction. Buffett knew, however, that corrections were rarely read and had no impact as compared to the initial story. So he also sent one of his proxies, the loyal Bill Ruane, to talk to the editors, not to complain but to position Buffett as an expert who could write an article about investing.[18] The attempt failed, at least initially.

Buffett now had a new cause—outrage at bias in news reporting—which wound itself around his sense of justice and his interest in journalism in general. That a reporter could lie by inference or omission without any accountability drove him wild. He knew that even well-intentioned news publications flew into a state of high dudgeon and defended their reporters' dubious behavior on the premises of newsroom morale and press independence. This stance, he would later learn, was referred to at the *Washington Post* as the "defensive crouch."[19]

Eventually, he would end up helping to fund the National News Council, a nonprofit organization that arbitrated complaints of journalistic malpractice. The council's position was that media had become dominated by monopolies and concentrated in a few hands; this lack of competition meant that the First Amendment's right of freedom of the press gave publishers "power without responsiblity." The council offered redress to victims who had been "traduced, misquoted, libeled, held up to unjustified ridicule, or whose legitimate views have been ignored in a one-sided report." Unfortunately, those very monopolies and the few publishers who dominated the media had no interest in publishing the News Council's rulings, which exposed their biases and the carelessness and incompetence of their reporters. The News Council eventually folded after its findings were spiked, time and time again, by the free and independent press that was supposed to publish them.[20]

The National News Council was a worthy crusade, indeed perhaps ahead of its time, like many of the causes on which Buffett spent his energy. But by 1973, Susie Buffett had seen him expend a tidal wave of energy on each new crusade or obsession, sometimes changing entire coastlines in his wake. While many people shift their interests over time, the shy, insecure man she had married seized on one obsession after another. From his childhood hobby of collecting license-plate numbers to reforming the jiggery-pokery of journalism, three roles invariably interested him. The first was the relentless collector, expanding his empire of money, people, and influence. The second was the preacher, sprinkling idealism from the lectern. The third was the cop, foiling the bad guys.

The perfect business would allow him to do all of these at once: preach, play cop, and collect money to ring the cash register. The perfect business, therefore, was a newspaper. That was why the *Sun* had been a sliver of something that he wanted more of, much, much more.

But he and Munger had struck out at trying to buy major city newspapers. Now here was Katharine Graham, unsteady on her feet when it came to business, manipulated by those around her, flailing, seeking a lifesaver ring from anyone she could find. Yet despite her insecurities and vulnerabilities, because of her position at the helm of the *Washington Post,* she had become one of the most powerful women in the Western Hemisphere. And Buffett had always had a strong attraction to powerful people.

Graham was afraid of him. She asked George Gillespie whether he was crooked. She could not afford to

make a mistake. For several years the Nixon administration had been waging an all-out war to discredit the *Post.* The Senate Watergate Committee was holding hearings. Woodward and Bernstein had unearthed Nixon's "enemies list." A set of newly discovered tapes implicated the President, who had refused to hand over information he claimed was privileged, information that could answer the question of what happened and who was involved. Graham labored every day over the Watergate story. In a sense, she had staked the *Post*'s franchise on it.

She relied heavily on the opinion of the devoutly religious, utterly respectable Gillespie. He had served the Graham family ever since, as a twenty-eight-year-old trust lawyer at Cravath, Swaine & Moore, he had drafted Eugene Meyer's final will, witnessing the signature of the fading old man. "He's going to take over the *Washington Post,*" she said about Buffett. "Kay, he *can't* take over the *Post,*" Gillespie said. "Forget it. It's not possible. It doesn't make any difference how much B stock he owns. He has no rights. All he could do would be to elect himself to the board if he owned the majority of the B stock."

Gillespie had called a San Jose Water Works director and was convinced that Buffett had had no inside information. He made it clear that he disagreed with the powerful André Meyer, going out on a limb, given Meyer's position and connections. He told her to talk to Buffett, that he would be good for her to know.[21]

Graham wrote Buffett, quaking as she dictated the letter, suggesting that they get together in California, where she would be traveling late that summer on business. He agreed eagerly, and when she arrived at an office provided by the *Los Angeles Times,* the *Post*'s West Coast news-service partner, she looked exactly as she had two years before: impeccably tailored shirtdress, her pageboy hairdo lacquered into place, lips pursed in a small smile. When she saw Buffett, Graham said, his "very appearance surprised" her.

"The great blessing and curse in my mother's life," says her son Don, "was she had very high standards when it came to taste. She was used to traveling in high-falutin circles. She thought there was one right way to dress and eat and one circle of people to be paid attention. Warren violated all her standards when it came to these things, yet he didn't care."[22] Wearing a suit that looked tailored for some other man, the hair no longer crew-cut and beginning to float up slightly at the ends, "he resembled no Wall Street figure or business tycoon I'd ever met," she later wrote. "Rather, he came across as cornfed and Midwestern, but with that extraordinary combination of qualities that has appealed to me throughout my life—brains and humor. I liked him from the start."[23]

But at the time, that certainly didn't show. Instead, she came across as frightened, unsure of both him and herself.

"When I first met with Kay, she was wary and scared. She was terrified by me, and she was intrigued by me. And one thing about Kay was that you could tell. She was not a poker-face type."

Buffett could see that Graham knew nothing about business and finance and that she thought her board and managers outclassed her in running the business despite what was by now a decade of experience. He told her he thought Wall Street did not see the value of the *Post.* Graham relaxed her guard slightly. In her patrician accent, she invited him to meet with her in Washington a few weeks later.

Warren and Susie arrived November 4, the evening before the meeting, drove up in a taxi to the Madison Hotel, directly across the street from the *Post* headquarters, and, as they were checking in, found that the newspaper was in the middle of a printers' union work stoppage. Federal marshals were evicting the mutinous printers amid rumors of pressmen carrying guns. Commotion, glaring lights, and television cameras carried on until dawn. Given what was happening in the political sphere, it would be hard to find a worse time to shut down a newspaper, which of course was exactly what the union intended. Vice President Spiro Agnew had been under criminal investigation but suddenly pleaded "no contest" less than a month ago to a tax-evasion charge, then resigned. The Watergate scandal had reached an explosive crisis. Two weeks after Agnew's resignation, U.S. Attorney General Elliot Richardson and Deputy Attorney General William Ruckelshaus resigned in protest rather than execute President Nixon's order to fire special prosecutor Archibald Cox—who had been appointed to investigate the unfolding scandal—and abolish his office. Nixon did so

anyway, in what became known as the "Saturday Night Massacre."[24] The President's interference in the supposedly independent judiciary branch of government marked a turning point in the Watergate affair by shifting public opinion decisively over the course of the past two weeks against him. Pressure was mounting rapidly on Congress to impeach.

The morning after the Buffetts' arrival, Graham, exhausted from working with most of her managers until six a.m. to get the paper out, was embarrassed at the introduction her new shareholder had received to her paper and nervous about how the day's meeting would proceed. But she had arranged lunch for Buffett with Ben Bradlee, Meg Greenfield, Howard Simons, and herself.

Graham considered Meg Greenfield her closest friend, yet referred to her as "a lone fortress…no one ever really got to know Meg." Editorial-page editor of the *Post,* Greenfield was a short, chunky woman with cropped dark hair and a plain no-nonsense face. She exemplified humor, honesty, toughness, good manners, and modesty.[25]

Howard Simons, the *Post*'s managing editor, was known for his sharp-witted way of twitting Graham. *"Howard Simons used to say that you don't have to be dead to write obituaries. He was a great guy, but he was wicked. He used to tease Kay so much.*[26]

"We were eating lunch, talking about acquisitions and media properties. I could see that even though she had all the A stock, she was afraid of me. I mean, they had spent their whole life dreaming up and putting defenses around the stock. So I said something about how the amortization of intangibles made it harder for the media companies, because they paid so much for goodwill, which caused problems if they were conscious of valuation."[*27] Buffett was trying to reassure Graham that it was hard to take over media companies because the accounting made it burdensome to would-be acquirers. *"And Kay was showing off. She said, 'Yes, the amortization of intangibles caused us a problem' or something like that. Howard looked her right in the eye, and he said, 'Kay, what <u>is</u> the amortization of intangibles?'*

"And at that moment, I mean, I loved it. She was just frozen. She was paralyzed. Howard was enjoying it. So I jumped in and explained what amortization of intangibles was to Howard. And when I got through with this description, Kay said, 'Exactly!'"

Buffett loved outthinking Simons, short-circuiting the game, and coming—indirectly and subtly—to Graham's defense. Graham's tight little smile began to ease. *"From that point forward, we were the best of friends. I was Sir Lancelot. That was one of the greatest moments of my life. Turning defeat into triumph for her."*[27]

After lunch, Buffett met with Graham for about an hour, then he reassured her in writing. *"I said, 'Kay, George Gillespie's arranged for the A shares to give you control. But,' I said, 'I also know that it is so important to you in this world that you're going to worry about it no matter what you've got. It's your whole life.' And so I said, 'I'm telling you that even though these teeth look like Little Red Riding Hood's wolf fangs to you, they really are baby teeth. But we'll just take them out. Just have the orders come up this afternoon, and we'll white out*[*28] *some things, and I'll never buy another share of stock unless you're okay with it.' I knew that was the only way that she would ever be comfortable."* That afternoon, Buffett—who had spent $10,627,605 to buy twelve percent of the company—signed an agreement with Graham not to buy any more of the *Post* stock without her permission.

In the evening, the Buffetts were due at Graham's for one of her famous dinners, this one for forty guests honoring Warren and Susie. Despite Graham's personal insecurity, she was considered Washington's greatest hostess, above all because she knew how to help people relax and enjoy themselves. This evening, despite her exhaustion and the temptation to cancel, *"She had a little party for me. That was her way of reciprocating. And when she had a party, she could get anybody she wanted. Anybody—the President of the United States, anybody."*

"She traveled widely in the world, so found occasions to give dinners," says Don Graham. "If she had gone

to Malaysia, when the prime minister came to town, she'd give a dinner for him. The ambassador would look up what they did last time, and there was always a meal at Mrs. Graham's house, so there would be another one. Someone would publish a book, someone would have a birthday, and she'd give a dinner because she loved to give a dinner." Graham used the dinners as a way of making new friends and as a way of getting people to know one another. "She would sort of adopt people in different administrations," says Don.[28] This particular administration, however, was Richard Nixon's. Graham had made few friends there, other than Secretary of State Henry Kissinger, and he had to defend socializing with her.

"So all of a sudden I'm at the Madison Hotel with Susie, and about five o'clock somebody slips something under the door and it describes the party, which I had been invited to weeks before. At the bottom it says 'black tie.' Well, I didn't have that, needless to say. So here's this pathetic guy from Nebraska, and he shows up with a business suit. He's going to a black-tie dinner in his honor and he's going to be the only one without black tie. So I called her secretary, panicked.

"Her secretary is a very nice gal. She says, well, let's put on our thinking cap. While I'm trying to cross the street to find a store that was open to rent me something, and nothing was open," Graham's assistant, Liz Hylton, called another local store, however, and found something suitable.[29]

The Buffetts left the Madison Hotel and were driven past mansion after mansion on Embassy Row. The taxi turned onto Q Street, past the historic Oak Hill Cemetery where Phil Graham was buried. Around the corner, they passed a row of historic nineteenth-century town houses with tiny manicured gardens. It was early November; the leaves glowed with traces of russet, amber, and gold. The taxi's passage into Georgetown was like crossing a border into a Colonial-era town. Tucked into the corner of the cemetery and sprawling down its tree-swagged hill stood Dumbarton Oaks, the ten-acre Federal estate where the conference at which the United Nations had been planned took place.[30]

The taxi swiveled left at the corner, between a pair of stone gateposts. The sight ahead was breathtaking. As the taxi began to crunch its way up the wide sweep of white pebbled drive, the Buffetts saw in the distance a dignified three-story cream-colored Georgian mansion with a green mansard roof. The broad lawns that surrounded it lapped all the way to the top of Georgetown's Rock of Dumbarton, so that the house looked down on the cemetery. To the right, down the hill past a deep colonnade of trees, were the neighborhoods leading to the old Buffett house in Spring Valley not far away, and just beyond that, Tenleytown, where Warren had delivered papers at The Westchester and stolen golf balls from Sears.

The Buffetts were ushered through Graham's front door to join the other guests, who were having cocktails in the living room. Asian art from her mother's collection hung everywhere on eggshell-white walls swagged with blue velvet curtains, along with a Renoir painting and Albrecht Dürer engravings. Graham began to introduce the Buffetts to her other guests. *"She told them nice things about me,"* Buffett says. *"Kay was doing everything in the world to make me comfortable.* [Yet] *I was so uncomfortable."*

He had never attended a gathering of such formality or grandeur. When the cocktail hour ended, crossing the hallway to the huge dining room where Graham held her famous parties, its paneled walls lit by the glow of tapered candles in bronze sconces, did nothing to make Buffett feel more at home. This setting intimidated even more than the living room. Crystal candlesticks and armorial porcelain gleamed on the round walnut dining tables, although the guests whom Graham had invited outshone the splendor of the surroundings. The room at any given time could be filled with a selection of U.S. Presidents, foreign leaders, diplomats, administration officials, Congressional members of both parties, senior lawyers in town, and people chosen from her group of perennial friends—Ed Williams, Scotty Reston, Polly Wisner,[31] Roy Evans, Evangeline Bruce, Joseph Alsop, along with people like the Buffetts who, for one reason or another, suited the occasion or were interesting to her.

Buffett found himself seated next to Edmund Muskie's wife, Jane, an obvious dinner partner, since the Buffetts had entertained her husband in Omaha. On his other side was Barbara Bush, whose husband was the U.S. Ambassador to the United Nations but would soon become the Chief of the U.S. Liaison Office in Peking, with the important role of steering the United States through the delicate process of renewing its

diplomatic ties with China. Graham pressed a button to signal the kitchen, and waiters began to move around the antique Georgian tables and serve. Warren tried not to gape at the protocol. *"Susie's over there sitting next to some senator. And he's trying to make out with her, he's got his hand on her leg and all these things. But me, I'm dying, because I don't know what to talk to these people about. Barbara Bush could not have been nicer. She could see how ill at ease I was."*

The waiters began to follow an American version of service à la russe, serving the first course followed by a fish course, then the main course, all borne on trays from which the diners served themselves. On and on the courses went as wine was poured to the sound of Washington chatter. The waiters added and removed unfamiliar sterling implements like fish knives. As they offered him food that he would never eat and wines that he would never drink, he found the meal increasingly more complex and intimidating. Graham's other guests were relaxed and comfortable, but by the time dessert was served, Buffett was thoroughly cowed. Then came coffee he did not drink. His discomfort increased to terror when, as at the end of every evening, Graham stood up and read an articulate, witty, polished, personal, and original toast to her guest of honor that she had obviously put considerable thought into writing, however lacking in confidence her delivery. The guest of honor was supposed to stand and toast his hostess in kind.

"I didn't have the nerve to stand up and offer a toast, which you're supposed to do. I blew it totally. I was so uncomfortable. I even thought I might throw up, actually. I could not stand up there in front of half the cabinet and talk. I wasn't up to it." All he wanted to do was escape. Afterward, as he and Susie made their goodbyes, they had the feeling that the hicks from Nebraska would be the talk of Georgetown long after they left.

"This Senator was still trying to score with Susie as we were leaving and was so concentrating on explaining how she should come down to the Senate and see his offices as we were leaving that he opened the door to a closet and walked in. That was my introduction to Washington."

Yet while it was true that the formal, glittering society that surrounded the powerful Mrs. Graham may have unnerved Buffett and made him ill at ease, he had never been one to hide his enthusiasms. And so it must have soon become obvious to Susie Buffett that her husband wanted more of this world.

38

Spaghetti Western

Omaha • 1973–1974

By the time he dined with Katharine Graham in 1973, Buffett was no longer just an investor who was buying newspaper stocks. He was becoming a business mogul on a small scale. Berkshire Hathaway and Diversified were his bailiwick. Charlie Munger was the czar of Blue Chip Stamps.

The interlocking ownership of these three companies had tightened the business relationship between Buffett and Munger, and resembled the embryo of an empire built by another investor whom Buffett in particular admired, Gurdon W. Wattles.[1] His company, American Manufacturing, was like a Russian doll; open it and inside was another company and another and another: Mergenthaler Linotype, Crane Co., Electric Auto-Lite. These stocks were all publicly traded, because though Wattles controlled them, he did not own one hundred percent of any of them. From early in his investing career, Buffett admired the Wattles model. He considered how best to profit from the same stocks Wattles was buying. He talked about Wattles all the time to his friends. "The only way to go is coattail-riding," he would say.[2]

"Wattles had this little closed-end investment company called Century Investors, which had to report to the

SEC. He did this chain thing where he would be buying stock in a company at a discount, which would be buying stock in another company at a discount, which would be buying stock in another company at a discount. The big company at the end of the thing was Mergenthaler Linotype, which was two-thirds owned by American Manufacturing. In those days, you didn't have to file with the SEC to publicly reveal that you were buying, so nobody knew and he just would keep buying until he got control. He bought control of Electric Auto-Lite, partly through Mergenthaler, and he was doing the same thing with Crane Co., not the stationery but the plumbing supply. Somewhere in the chain was Webster Tobacco. They were all cheap statistically. Everything sold at a discount, and you could just keep buying all of them and make more money every time you made a purchase. Usually I would buy some of all of them. I owned Mergenthaler, I owned Electric Auto-Lite, I owned American Manufacturing.[3] *What would cause the value to come out, that was always the question. But you just had a feeling you were with a smart guy and eventually it would."*

Early on, he went to see Wattles at his office at White, Weld & Co. in Boston.[4]

"I was a little apprehensive and said something like, 'Mr. Wattles, I hope I can ask you some questions.' And he said, 'Shoot.' Right away, I had to start thinking of questions. He was very good with me. For ten or fifteen years I followed him. He was very Graham-like. Very Graham-like. Nobody paid any attention to him except me. He was sort of my model as to what I hoped to do for a while. It was so understandable and so obvious and such a sure way of making money. Although it didn't make you huge money necessarily, you knew you were going to make money."[5] What interested Warren about the Wattles model: the way one company could legitimately buy cheap stock in another. *"You don't have to think of everything, you know. It was Isaac Newton who said I've seen a little more of the world than others because I stand on the shoulders of giants. There's nothing wrong with standing on other people's shoulders."*[6]

Eventually Wattles had merged his empire into one company, Eltra Corporation, created through the merger of Mergenthaler Linotype and Electric Auto-Lite. This stock was now a favorite of Bill Ruane's, because the company's earnings were compounding at fifteen percent a year.[7]

The Buffett-Munger companies were beginning to look a little like Eltra before its combination: Berkshire Hathaway was Diversified's largest shareholder and also owned Blue Chip stock. Each of them also acted as a holding company for businesses that were not traded publicly. Most notably, Blue Chip owned See's Candies, which was so profitable that it more than offset the losses from the rapidly shrinking trading-stamp business. Munger now followed up by buying twenty percent of a near-defunct investment firm, Source Capital, for Blue Chip. "We bought it at a discount from its asset value," says Munger. "And there were two assholes who were the sellers. We had a no-asshole rule very early. Our basic rule has always been that we won't deal with assholes. And so Warren, when he heard about Source Capital, said, 'Now I understand the two-asshole exception to the no-asshole rule.'"[8]

Twenty percent is influence, not control. Munger went on the board of Source Capital with a new set of talented managers who were not assholes, Jim Gipson and George Michaelis, and started straightening out its portfolio.

Source Capital, however, was small change. Buffett and Munger were both always on the lookout for anything new they could acquire, especially something bigger that would give Blue Chip the kind of boost that See's Candies had. They had found a sleepy West Coast savings-and-loan company, Wesco Financial. When a broker called Buffett offering some cheap Wesco stock, after a brief conversation with Munger, they grabbed it—and bought the shares for Blue Chip Stamps.[9] Then Wesco announced that it was going to merge with Financial Corporation of Santa Barbara. Santa Barbara was a hot stock, with an aggressive approach that Wall Street liked. Analysts thought Santa Barbara was paying too much for Wesco.[10] Yet Buffett and Munger saw the opposite. They thought Santa Barbara's stock was overpriced, and Wesco was handing over its stock too cheap.[11] Buffett went nuts. He read the terms and couldn't believe them. "Have they lost their minds?" he asked.[12]

Founded by the Casper family, Wesco was located in Pasadena, Munger's hometown. It owned Mutual

Savings, a savings and loan that had prospered when the GIs came home from the Asian theater during the post-WWII building boom. Even so, Wesco had never exploited its opportunities for growth. But it was extremely profitable because it kept its costs so low.[13]

Betty Casper Peters, the only member of the founding family both interested and able to serve on the board, felt that Wesco's managers condescended to her and dismissed her suggestions that they could grow the company. Instead, they used her family's legacy as a ticket to ride at the head of the Rose Bowl parade.[14] Peters, an elegantly dressed, high-cheekboned former art history student, had school-age kids, no business background, and spent much of her time tending the family vineyard in Napa. Now she drove back and forth to Pasadena on Wednesdays to attend board meetings. Running a savings and loan, she found, was hardly a black art. She subscribed to everything relevant she could get her hands on and sat down and read and figured it out.

As Peters's frustration grew, she pushed for a merger. She knew the Santa Barbara offer wasn't great, but all of the company's executives were in their mid-forties and they were bright and aggressive. Although they hung around the country club too much for her taste, they were vigorous, acquiring branches and doing things that she thought should be done.

Blue Chip already owned eight percent of Wesco when the merger was announced. Munger thought that if it kept buying Wesco, it could accumulate enough stock to defeat the Santa Barbara deal. But then he discovered that it would take fifty percent of the stock, a much higher obstacle. Munger had a greater incentive than Buffett to keep going, since Blue Chip was his partnership's most important investment. He urged going ahead; Buffett thought fifty percent was too high a threshold and held back. [15]

Soon thereafter, Munger went to see Wesco's CEO, Louis Vincenti, and tried to persuade him to abandon the Santa Barbara deal.[16] And Vincenti brushed Munger off like a flake of dandruff—not an easy thing to do.

Munger and Buffett had no intention of launching a competing hostile bid, however. Further, Munger could not imagine that such a thing might be necessary. He wrote Vincenti, appealing to his higher values.[17] Surely his superior reasoning could bring Vincenti around. It was *wrong* that Wesco should sell itself too cheap; Vincenti should simply *see* that. So Munger told Vincenti that he liked Wesco's management and that Vincenti was Buffett and Munger's sort of fellow. He told Vincenti something like, "You're engaged to this other girl, so we can't talk to you, but if you were free, you're the kind of man we would like."[18]

Munger's old-fashioned, Ben Franklinesque sense of ethics and his noblesse oblige notion that gentlemen in business should agree upon the right conduct among themselves must have sounded like Sanskrit to Vincenti. But at least Vincenti did let slip that Betty Peters was the shareholder pushing for the merger.

Munger sent Don Koeppel, CEO of Blue Chip, down to see Peters. She viewed him as a minion and sent him back empty-handed.[19] So it was time for the big gun. Within ten minutes of Koeppel's departure, Buffett called her. Peters had just finished reading the chapter on him in Jerry Goodman's *Supermoney,* which her husband had given her for Christmas. "Are you the same Warren Buffett that's in *Supermoney*?" she asked. Buffett admitted that he was the man who, according to Jerry Goodman, represented the triumph of straight thinking and high standards over flapdoodle, folly, and flimflam. Peters willingly agreed to meet Buffett with her three children at the TWA Ambassador Lounge at the San Francisco airport twenty-four hours later.

At the meeting, Buffett, with Pepsi in hand, underplayed his talent and record while asking questions in a warm, unthreatening manner. They talked for three hours, mostly about Omaha, where Peters's mother had grown up. They talked about politics. Peters, a lifelong Democrat, was pleased by Buffett's views. Finally he said, with considerable understatement, "Betty, I think I can do better with Wesco than this merger. Inasmuch as you're giving up the company, why don't we give it a try?"

Peters was taken with Buffett and thought he might be right about doing better than the fast young men from Santa Barbara. In fact, her concern now became that something might happen to Buffett if she swung her

vote to him. He told her he had a partner, however, someone who would be in charge of Berkshire and the Buffett family's stockholdings if the proverbial truck mowed him down.

On her next trip to Pasadena, Peters sat down to breakfast with Buffett and Munger at the grand old Huntington Hotel so that she could get to know this mysterious partner. The two of them asked for a meeting with the Wesco board. Peters then did something brave, allowing herself to look capricious in front of the board rather than let the company make a serious mistake. She went to the next board meeting and asked the board to reverse course and meet with Buffett and Munger. The board waved her off, however, and voted at a special meeting to "use every effort to complete the merger with Financial Corporation of Santa Barbara."[20]

Forgetting who actually owned the company was their mistake. Peters now took Munger and Buffett to meet her brothers to secure their votes. By the time the board met again a week later and reaffirmed their position, Peters had made a decision and, behind the scenes, brought her whole family around to voting against the Santa Barbara deal.

"And then my task," says Peters, "was to go back into that little hermetically sealed Pasadena boardroom and tell all these buttoned-down gentlemen, including the management, that we're not going forward with the Santa Barbara savings deal." When she returned to the Spanish-style building, she was thinking about the plaza outside the boardroom windows with its tile-lined fountain. "If the windows had been open," she says, "they would have thrown me out of them. I knew that what was going on in everyone's mind was 'My God, is this what happens when you let a hormonal woman on the board?'"[21]

Wall Street thought so; it sent Wesco stock nosediving from a high of above $18 to $11 on the news. Wesco's management was "old and not very aggressive," one analyst said. Another claimed Santa Barbara was paying too much for Wesco, a "sleeping company for years, with old management." Another referred to it as "garbage."[22]

For her courage, Buffett and Munger now felt indebted to Peters.[23] They had also decided they wanted to own Wesco themselves and felt it would be possible to engage Vincenti and win his cooperation. However, by then it must have been apparent that Lou Vincenti would not gambol along behind them like a lamb after its mother. Accordingly, they loosened the purse strings and told their brokers, for once, to bid liberally on the stock. Blue Chip paid $17 for Wesco shares—the price at which they had traded before the deal fell through.

"I will admit we were eccentric," says Munger. "We deliberately paid more than we had to, but we felt we'd scuttled the damn merger and we didn't like taking advantage of it by buying at the market price. We thought it was kind of the right thing to do. Well, nobody could understand that. They thought something must have been dishonorable about doing that. We really thought we'd make a better impression on Louie Vincenti if we didn't scuttle the merger, then buy the stock cheap. That would look pretty God-knows-what, and we wanted Louie to be our partner for the long term. We were trying to behave well."[24]

By March 1973, Blue Chip owned a quarter of the Wesco stock. And Buffett, who had never stopped buying Blue Chip, continued his drive to get hold of more. The year before, he had exchanged Diversified's Thriftimart shares for still more Blue Chip stock. Including the thirteen percent of Blue Chip he owned outright as well as his share of the stock owned by Berkshire and Diversified, which owned another thirty-five percent, Buffett was now effectively the largest Blue Chip shareholder. Blue Chip began to formally tender for Wesco's shares, this time paying $15 a share in cash, until it owned more than half.[25] Within weeks, Munger outlined for Lou Vincenti a vision for the company[26] that, not surprisingly, resembled the way Buffett thought about Berkshire Hathaway and Diversified. Wesco, with Munger as chairman, would be another new doll among the rest[27]—this one residing inside Blue Chip.

Then, no sooner had Blue Chip bought the majority of Wesco than the whole stock market fell apart.[28] Buffett's stake in the *Washington Post* lost a quarter of its value.[29] Ordinarily he would have bought more.

However, he had promised Graham that he wouldn't. Instead, he recommended it to his friends.[30]

So instead of buying more *Post* stock, Buffett—who had always believed in concentration—looked for new opportunities and began filling his basket faster than an Easter egg hunt with huge quantities of a handful of other stocks: National Presto, maker of pressure cookers and popcorn poppers,[31] and a huge chunk of Vornado Realty Trust, which put him on its board.[32]

Buffett had a set of legacy shareholders at Berkshire Hathaway who understood his investing approach and would never question his judgment. Thus he had earned the luxury of ignoring Mr. Market, which had marked down the value of his portfolio to a fire-sale price. Others were not so lucky. Bill Ruane's Sequoia Fund was headed for a terrible year, and Ruane's main financial backer, Bob Malott, was apparently unhappy. Malott knew Ruane from Harvard and they had shared an apartment when Ruane was working at Kidder, Peabody in New York. But Malott was sold on Buffett's approach and track record; he asked for Buffett's help with the pension fund of FMC Corporation, the company he now headed. So Buffett went to San Diego and spent several days interviewing investment managers and explaining his thinking to FMC's investment people. In the process, he converted them to Grahamites with what would eventually become powerful results. At first he said no to the request of managing the portfolio himself—then eventually agreed to manage a portion.[33] Along with his acceptance, however, he gave a warning: FMC would come last among his priorities, after Berkshire and Diversified, and Warren and Susie Buffett. The canny Malott jumped at the opportunity anyway, not mistaking the larger point: That Buffett was willing to do it *at all* meant that he would do it *well.*[34]

* * *

Between his duties at FMC, Vornado, Blue Chip, and Wesco, and regular trips to New York, Buffett was now traveling much of the time. He was also busy courting Katharine Graham and had made such a good impression on her that she began to call him for advice. Susie made the rounds of Omaha, busy with the board of the Urban League, still giving out her scholarships, and taking on her latest crusade, the Future Central Committee, which was trying to save her alma mater, Central High School, from forced busing.[35]

As 1973 progressed, even Hamilton the dog must have noticed the silence and emptiness descending on the Buffetts' crazy, noisy home.[36] Howie was two hundred and seventy-five miles away from Omaha at Augustana College. Susie Jr., unhappy with Lincoln, had transferred to the University of California, Irvine, where she was majoring in criminal justice.[37] Peter, the child who had never required attention, was now a sophomore in high school. Thinking of moving to California, Susie had taken him to look at schools in Orange County. They stayed in Omaha, however, and now Peter spent much of his time in the basement, where Susie, who had gotten him interested in photography, had built him a darkroom.[38]

Often now Susie stayed up late at night alone, listening to music that transported her to some different place.[39] She loved the jazz guitar of Wes Montgomery and great soul music, like the Temptations, who sang of a world in which it was men who felt all the longing.[40] She read books like *I Know Why the Caged Bird Sings,* Maya Angelou's autobiographical account of overcoming the forces of racism, sexual abuse, and repression that made her early years a prison. "The idea of being confined in a place not of your choosing ran deep for her," Peter says—not surprising after her childhood shut away in a sickroom, and growing up with a sister who was disciplined by being locked in a closet. Susie longed for romance, but now knew that she and Milt were never going to get married. Nevertheless, she could not bring herself to give up her connection to Milt.

She was also spending more time with her tennis crowd of younger people at Dewey Park. One, John McCabe, a coach with a subdued personality, a sadness somewhat like her own, and a certain fragility, resembled most of her other lonelyhearts, but she seemed particularly drawn to him.[41] Now that Susie had

reasons to be away from the house most of the time, the hubbub began to dim, her hangers-on hung out with Susie elsewhere, and the rhythm of the house slowed from its all-day carnival atmosphere. Peter, never much attuned to his parents' lives, noticed only the growing silence, not its cause. When he got home from school, he petted Hamilton, made something for himself for dinner, and headed downstairs to the darkroom.[42]

Warren's conception of his marriage had never changed, even though the marriage itself was changing inexorably. When he was home, Susie still seemed just as devoted to him as ever. He saw how active and busy she was and wanted her to be fulfilled, as long as she continued to take care of him—which he assumed was fulfilling to her. As far as he knew, the balancing act that had always worked for them still did.

* * *

The "retired" Warren was investing at full throttle ahead in late 1973, in the midst of a market swoon. Between Cap Cities and the *Washington Post* and his growing friendship with Kay Graham, his interest in media over the past few years had permutated into a deep understanding of the subject at all levels. One night at dinner in Laguna Beach, he and Carol Loomis started strafing Buffett's friend Dick Holland, who worked in advertising, with questions about the advertising business. "Whenever he did that," Holland recalls, "I always knew something was cooking." The four of them talked business while Susie and Mary Holland, in purdah, entertained themselves. Sure enough, as a secondary way to play media, Buffett got on the phone to his trader and plunked down almost $3 million for the stocks of advertising agencies Interpublic, J. Walter Thompson, and Ogilvy & Mather, stocks so distressed he paid less than three times their earnings.

While he was buying, however, most of the stocks that Buffett had accumulated were faltering. As 1974 began, stocks for which he had paid $50 million had lost a quarter of their value. Berkshire, too, started to slide, down to $64 per share. Some of the former partners who had kept the stock began to worry about whether they had made a mistake.

Buffett saw it just the opposite way. He wanted to buy more Berkshire and Blue Chip. But *"I'd run out of gas. I had used all the $16 million of cash I got out of the partnership to buy stock in Berkshire and Blue Chip. So all of a sudden I woke up one day and had no money at all. I was getting $50,000 a year salary from Berkshire Hathaway and some fees from FMC.*[43] *But I had to start my personal net worth over again from zero."*

He was now very, very rich but cash-poor. The companies he controlled, especially Berkshire Hathaway, had cash to buy stocks, however. To move some of Berkshire's money to Diversified, Buffett set up a reinsurance company—a company that insures other insurers[44]—in Diversified. This company, Reinsurance Corp. of Nebraska, agreed to take part of National Indemnity's business, receiving premiums and covering losses. Because National Indemnity was so profitable and generated so much "float"—premiums paid ahead of claims, i.e., cash—sending part of its business to Diversified was like sending a pipeline into a river of money. As time passed, it would give Diversified millions more dollars to invest.[45]

Buffett began to buy stocks for Diversified. Principally he followed the Wattles model and bought stock in Blue Chip and Berkshire Hathaway. Soon, Diversified owned ten percent of Berkshire. It was almost as though Berkshire was buying back its own stock—but not quite. Diversified's owners and Berkshire's weren't the same. Buffett still forbade his friends to buy Berkshire—whereas he, Munger, and Gottesman were partners in Diversified.[46]

At the time, even though the three did each other business favors and swapped stock ideas on occasion, their interests didn't necessarily align. Asked later under oath if he was Buffett's "alter ego," Munger said no. He acknowledged similar mannerisms and ways of speech. But "I've never chosen a role of being a junior partner," he said. "I like the idea of having a sphere of activity" of my own.[47] On one occasion, Munger said, he had found a block of Blue Chip stock that he and Gottesman wanted to buy for Diversified. Buffett wanted to take the block away from them and buy it for Berkshire Hathaway. After "a discussion"—clearly

about who needed it more—the combined strength of Munger and Gottesman had somehow overpowered Buffett, and Diversified got the stock.[48] At least that way they kept a little share.

Still, Buffett did own forty-three percent of Diversified, so its purchases of Berkshire had added almost five percent to his personal ownership. Buying through Diversified was particularly attractive in that it tended not to ratchet up Berkshire's stock price. Hardly anybody was paying attention.[49]

But why did he want it at all?

"Berkshire was not worth more than forty bucks as a business. You couldn't have sold the textile mills and insurance business for more. And half the money was in a lousy business, I mean a really lousy business: twenty bucks a share of the forty bucks. And I didn't know what I was going to do, I literally didn't. I mean, I was rich enough already. But in effect, I was betting that I could do something. I was betting on myself. And though it sounds egotistical, anybody who might have thought it was worth more than forty bucks was purely paying for me. Because the company was not worth that."

He didn't know what he was going to do, except invest. Verne McKenzie, who had returned from New Bedford to become Berkshire's controller, thought that to Buffett, it simply "looked like an interesting game. All he was doing was solidifying his control." That he was, and doing so in the manner in which he always approached investing—as a collector, one who bought in secrecy to avoid tipping off other bargain hunters. But as the chairman of Berkshire Hathaway and Diversified, he was once again mostly buying from sellers who had been his former partners. Although perfectly legal, it was not exactly sporting conduct. But their willingness to sell, in his mind, ended his special obligation to them.

Buffett had also been buying Blue Chip Stamps all along, though so far, Blue Chip had remained primarily Munger's province. It owned the best of the businesses, however, namely See's. Now Buffett began to pursue Blue Chip stock like a great white shark after a well-fed seal. Since he had far greater financial resources, Buffett's ownership percentage of Blue Chip quickly surpassed the combined interest of his partners in that stock, Munger and Rick Guerin—Munger's associate from the Pacific Coast Stock Exchange, who now ran an investment partnership of his own.

Buffett bought Blue Chip wherever he could get it. He bought from Blue Chip's management and from other directors. One of these, Z. Wayne Griffin, asked $10.25 to Buffett's bid of $10. Reaching an impasse on the phone, Buffett recalls that Griffin suggested they flip a coin. He was taken aback by Griffin's willingness to do this, sight unseen. From that fact alone, Buffett realized not only that Griffin trusted him, but that he had already Buffetted himself. Griffin called it heads. Obviously, if he made such a bet, he was willing to take the ten bucks, which he did.

Buffett's accumulation of all these stocks, however, differed from his buying in the era of cheap cigar butts. Two large question marks hung over Blue Chip, Diversified, and Berkshire. As Buffett solidified control, all that money pouring in to both Berkshire and Diversified from the insurance business would have to be put to good use. And the bet on Blue Chip's legal problems would have to work out.

By year-end 1973, Blue Chip had settled eleven lawsuits.[50] All that remained was the Justice Department's ruling that it divest one-third of its business. That would not be easy because "the President's freeze on food prices is another knee in the groin for us," Don Koeppel wrote. "The grocers are screaming, predicting huge losses, bankruptcy in some cases."[51] Inflation had run rampant, President Nixon had frozen prices on commodities to try to halt it, and commerce had entered a new era of trying to match rising costs to frozen consumer prices.

The stamp business was dead, but Buffett, the implacable acquirer, had his stock. After this series of trading gyrations, Blue Chip had Wattled its way into the set of Russian dolls. *"It was the same principle,"* Buffett says. Including all the pockets in which he had bought shares indirectly, he owned more than forty percent of Berkshire and more than twenty-five percent of Blue Chip Stamps. Even though these stocks traded at depressed prices, he could fund more deals and buy more stocks because all of the dolls had their own

self-charging batteries, "float," cash that could be invested in advance of paying claims. This innovation dramatically improved the deal.

The operating businesses themselves had also improved since the dismal days of windmills and fire maps. Along with See's, Berkshire owned not only the whopping float-generator National Indemnity but also a clutch of little insurance companies that Buffett hoped would eventually turn into small power-houses, even though he was struggling to whip them into shape. Meanwhile, the deadweight of Hochschild-Kohn had disappeared and Buffett kept shrinking the textile mills.

But in the bigger picture, what Berkshire, Diversified, and Blue Chip really possessed were two things. The first was the homeostatic business model—the idea of grafting float onto a holding company so that it could respond internally to the changing environment. The second was the power of compounding, as float and investments doubled and redoubled over time.

The novelty and strength of Buffett's model cannot be overstated. Nothing else like it existed, or would for years to come. *"That was the golden period of textbook capital allocation,"* he says.

The timing was stupendous. Capital from the insurance companies was pouring into Berkshire and DRC at the same time that the market was collapsing, the environment that Buffett liked best. While he had not yet decided exactly what to do with the collective enterprise he had built by the end of 1974, of two things he was certain. One was the business model's power, and the other his skill in using it. Above all, he had confidence in himself.

"Always," he says. *"Always."*

39

The Giant

Omaha and Los Angeles • 1973–1976

Howard Buffett was one of those rare people who prospered in the aftermath of the 1929 stock market crash. Now his son's star was rising during the second great crash of the century.[1] But the world had changed; stardom, even in business, now meant fame. Buffett had closed his partnership during a media explosion in the United States in which cable had transformed television, newspaper companies were going public, and advertising was still in a golden age of selling to a monolithic audience in which virtually the whole nation sat down together on Tuesday nights and watched *Happy Days.*

Buffett had entered the media world as an investor drawn to the business by a natural affinity. But as he embarked on a new, post-partnership phase of life, through the publicity he got from the *Forbes* story in 1969 and then from the *Supermoney* profile, he began to enjoy the fruit of the discreet use of profile-raising press. Now he was a subject of media interest, not just a media investor; and no less a personage than Katharine Graham was paying him attention and taking him seriously, which had brought him into the orbit of one of the most important newspapers in the United States.

As was her habit with powerful men, Graham reached out to him for help. Buffett needed little encouragement.

"The first time she was going to speak to the New York Society of Security Analysts, I went over there to her apartment in New York on a Sunday morning to help her write her speech. She was a basket case. She was terrified that all these men were going to be there and she was going to have to stand up in front of them.

Public speaking was something that was very hard for her always. The funny thing is, she had a great sense of humor, she was smart, but she tended to freeze in front of a crowd. Particularly if she thought they were going to question her about numbers."

As Robert Redford had said in an interview after first meeting her to discuss the Watergate movie *All the President's Men,* Graham had a "tight-jawed, blue-blooded" quality that demanded that her privacy not be invaded. Why, therefore, Redford asked himself, "did she keep making speeches and accepting awards?"[2] —particularly since it terrified her to do it.

Buffett sat down in the living room of Graham's large apartment situated on an upper floor of the modern UN Plaza, overlooking New York City's East River. Surrounded by Asian art and antiques from Agnes Meyer's collection, they started to work.

"She kept imagining these questions they were going to ask, like how much are you paying for your newsprint per ton? She thought it was a quiz. And I said it doesn't make any difference. You're paying what other people are paying for newsprint, so what? But that was a big thing. She was just convinced. I kept trying to get her away from trying to remember facts. Just have a theme." Graham wanted to say that good journalism makes good profits. Buffett snorted to himself over this notion and refocused her. *"You know, good journalism is not inconsistent with good profits, or something like that. The hell with all the other stuff. I just tried to convince her that she was a hell of a lot smarter than all those dumb males that were out there. That's what really sort of bonded us initially."*

In an ironic turnabout, Buffett became Kay Graham's personal Dale Carnegie instructor. He, of all people, could sympathize with someone who tended to freeze in front of a crowd. Moreover, thanks to Susie's gentle tutelage over the years, he had learned a subtler way of dealing with people. He knew how to anticipate their reactions and to phrase things in a nonthreatening way. His letters, which had always been self-conscious, were now more deftly worded and empathetic. He had learned to listen and show interest in other people and to converse on topics other than stocks. It helped that he was genuinely fascinated by Graham.

After they finished preparing and rehearsing, Graham said she was going to a party at the Agnellis' that night. "You might find the sightseeing entertaining," she said. "Why don't you come with me?" Buffett always stressed how uncomfortable and out-of-place he felt at glamorous events and how uninterested he was in attending them. So he told Graham that, yes, he would go. That evening he left his room at the Plaza to pick up Graham and ride to the Upper East Side.

"We were this very improbable couple—her mid-fifties, me early forties, and we got to this apartment, which was more than an apartment, it was like a triplex, it was huge. And everybody was bowing and scraping to Kay. There was every character from the party scene in the film La Dolce Vita. I was the required walk-on, the potted plant. You wanted it to go in slow motion so you could see everything. Gianni Agnelli, the head of Fiat, and his wife, Marella, weren't there. It was almost like a costume party, except it wasn't."

Buffett returned to Omaha afterward having seen a new side of Graham. As he continued getting to know her on a personal level, he saw her as a bundle of paradoxes. *"Fearful but willful. Patrician but democratic. Wounded by the people she cared most about."* He was surprised how much she still talked about her former husband a decade after his suicide.

"When you first met her, she would often get off on the subject of Phil very quickly, almost like Charlie getting off on a subject. And she described him in terms that were sort of hard to believe, considering how badly he treated her. But after I got to know her better, she told me everything about him and the relationship. She had found it impossible to conceive of herself as being in the same league as him. She felt she was a fraud, almost, even pretending to be in the same room with him. They used to hang out a lot with the Kennedys, and she just felt that she shouldn't be there. Anything he said was funny, anything he did was right. When he used to chop up the children right in front of her, she wouldn't stop him—I mean, the whole thing."

That he and Graham—who showed the aftereffects of an upbringing by a cruel, neglectful mother and years of abuse by a sadistic husband with untreated bipolar disorder—would be mutually attracted seems almost a foregone conclusion given Buffett's own childhood experiences. He knew how to behave around her in a way that wasn't threatening. By the spring of 1974, she began to switch her allegiance from her other advisers to him. In turn, he seized the chance to tutor the CEO of the Washington Post Company about business as if he had been waiting to play Pygmalion all his life: his very own Eliza Doolittle. More patient than Henry Higgins, he coached her gently and sent helpful, interesting articles to Kay and to her son Don.

As Buffett's influence grew stronger, Graham noticed that the words "Warren says" brought shudders from some of her board members.[3] But Buffett himself was hoping to be invited onto that board. When Tom Murphy had approached him to join the Cap Cities board, Buffett told him no, he was holding out for the *Post*.[4] Murphy dutifully spilled this news to Graham, who "felt dense" for not having figured it out herself.[5]

* * *

Susie thought that instead of taking on more business responsibilities, her husband should sell some of their stock and use it for a higher cause. Riding with him in a taxi in Washington, D.C., she pointed out philanthropist Stewart Mott, who was running the Stewart R. Mott Charitable Trust, which gave money to peace, arms control, and population and family-planning causes. The Buffetts were now richer than Mott, who had started with $25 million. "Why don't you quit?" Susie said. "Stewart Mott is doing all these other things now and he doesn't have to work every day." But Warren was incapable of quitting; he fell back on his philosophy that $50 million today would be worth $500 million someday. Nonetheless, he was not entirely disengaged from his family nor insensitive to his wife. He had picked up some vibrations from Susie, a sense that she wanted more from her life. With Peter moving along in high school, Warren told her, "Susie, you're like someone who has lost his job after twenty-three years. Now what are you going to do?"

Photo Insert Two



Image 24
In 1945, Warren and Lou Battistone "lusted after" Abbye "Pudgy" Stockton, the pioneer in women's weight-lifting.



Image 25
Warren sang and played the ukulele every morning before work at an employee "pep rally" in the basement of JC Penney's, where he sold menswear and men's furnishings in 1949.



Image 26
Warren pretends to pick the pocket of his fraternity brother Lenny Farina in 1948.



Image 27
In 1951, Warren dated Vanita Mae Brown, who was "Princess Nebraska" in the 1949 National Cherry Blossom Festival, as well as Miss Nebraska 1949.



Image 28
Susan Thompson and Warren Buffett beaming at their wedding, April 19, 1952.



Image 29
Susie Thompson as a preschooler.

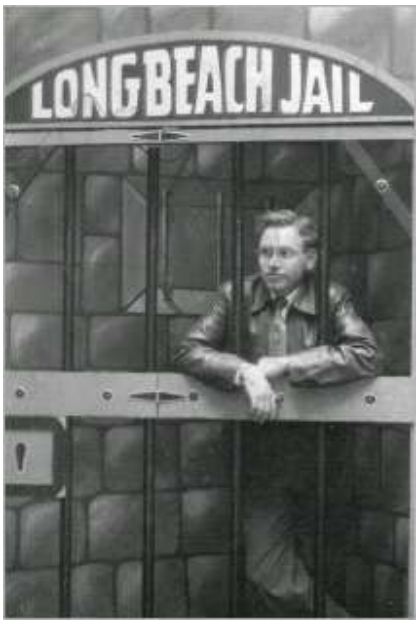


Image 30
Warren posing as a prisoner on his honeymoon, April 1952.



Image 31
An undated photograph of Graham-Newman partners Jerome Newman and Benjamin Graham.

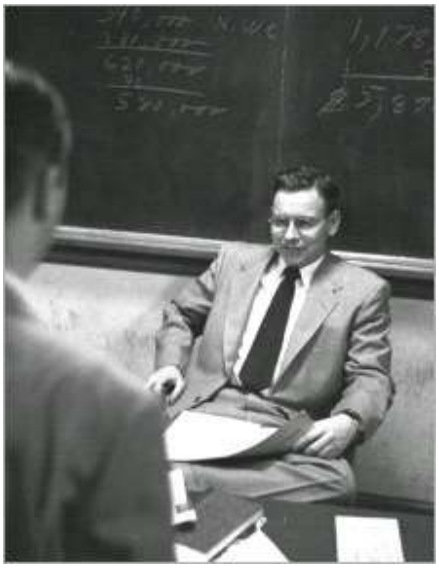


Image 32
Warren teaching one of his early investing classes, probably Sound Investing in Stocks, at the University of Omaha, 1950s.



Image 33
Susie Buffett in New York City, holding daughter Susie Jr. during a visit with Ben and Estey Graham. Estey is holding the Buffetts' new baby, Howard Graham Buffett.



Image 34
Susie with, clockwise, Peter, Howie, and Susie Jr., in the mid-1960s.



Image 35
Charlie Munger as a baby in his father Al Munger's arms, already wearing his trademark skeptical expression.

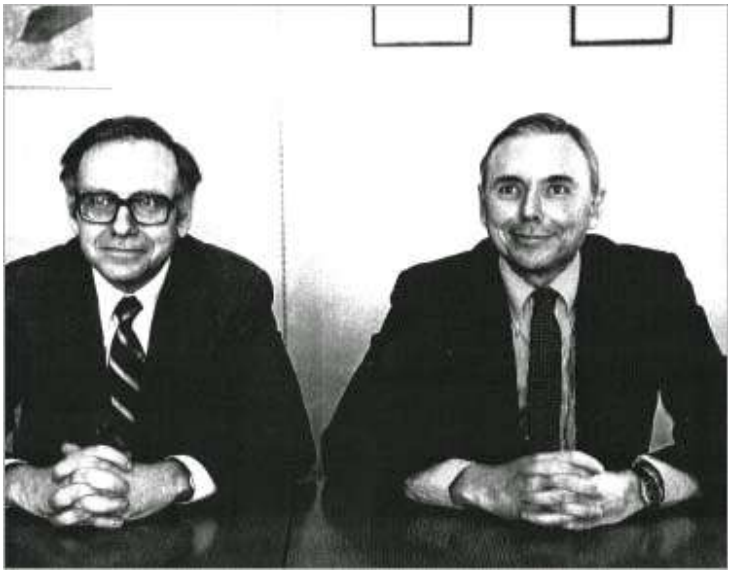


Image 36
Buffett and his partner Charlie Munger in the 1980s. Buffett calls them "Siamese twins, practically."



Image 37
First meeting of the "Graham Group" at the Hotel del Coronado in San Diego, 1968. Left to right: Buffett, Robert Boorstin (a friend of Graham's), Ben Graham, David "Sandy" Gottesman, Tom Knapp, Charlie Munger, Jack Alexander, Henry Brandt, Walter Schloss, Marshall Weinberg, Buddy Fox (in profile), and Bill Ruane. Roy Tolles took the photograph and Fred Stanback could not attend.



Image 38
The Buffetts in the mid-1970s. Left to right, Howie (holding Hamilton), Susie, Peter (behind Susie), Warren, Susie Jr.



Image 39
Susie Buffett glows in sequins before one of her singing performances at Omaha's French Café, shortly before she moved to San Francisco.



Image 40
The Buffetts celebrate the Pulitzer Prize awarded to the Sun Newspapers after the Boys Town exposé.



Image 41
Susie Buffett Jr. at her November 1983 wedding to Allen Greenberg, who later became executive director of the Buffett Foundation.



Image 42
Buffett and* Washington Post *publisher Kay Graham began a close, lifelong friendship in 1973.



Image 43
Astrid Menks in 1974, age 28. Four years later Susie Buffett encouraged her to take care of Warren, and she ended up moving in with him.



Image 44
Russian immigrant Rose Blumkin overcame hardship to build the largest furniture store in North America. She worked until age 103, a benchmark Warren often cites for himself.



Image 45
Buffett at home in his kitchen, wearing a favorite threadbare sweater.



Image 46
Buffett playing bridge with George Burns in 1991, at Burns's 95 birthday at the Hillcrest Country Club in Los Angeles. Not shown: Charlie Munger and a sign reading: "No smoking by anyone under 95."



Image 47
Throwing out the first pitch before the Omaha Royals' home opener, April 11, 2003.

The answer, she said, was sing. Her nephew Billy Rogers had made her some instrumental guitar tracks so that she could tape herself and listen to her performances. Rogers had been playing jazz guitar at Mr. Toad's, Spaghetti Works, and other clubs in Omaha, and along with him, Susie was now a familiar face in the local music scene. But when she first started practicing, "I was scared, really scared," she said. "I was bad." The last time she had performed in public was ten years before at a charity benefit at Central High. So she got

coaching and worked on contemporary love songs and ballads. Susie first debuted as a chanteuse that July, before a friendly audience at a private party at Emerald Bay. "People seemed to like it pretty well," she said.[6] And it thrilled her husband to see his friends applauding his wife's talent.

* * *

While the Buffetts were in Emerald Bay that summer, Warren invited Graham for a visit in connection with a trip she was making to speak to an analysts' meeting in Los Angeles. Sensing that Graham was going to talk to him about joining the *Post* board, Buffett had been dancing around his office at Kiewit Plaza for days ahead of time, happy and excited as a kid on Christmas Eve.[7]

The Buffetts' house at Emerald Bay, down a steep driveway set well back from the beach, still had the feeling of a modest rental house; it lacked most of the personal touches that spoke of a family. Warren had no sense of what kind of impression the place might make on Graham, who owned several enormous, impeccably decorated and maintained mansions, including the farm at Glen Welby and a vast, shingle-style waterfront estate on Martha's Vineyard.

Apparently, however, he must have impressed upon his wife that they would have to make an unusual effort for Graham. The first morning after Kay arrived, Susie rose at an unheard-of hour and feigned domesticity: She cooked a full breakfast for the three of them, which both of the Buffetts pretended to eat. Her husband spent the rest of the day wrapped up in Graham, talking to her about newspapers, journalism, politics, and bringing up every opportunity for her to invite him on the board.

At some point, he put down his newspapers, donned a bathing suit purchased specially for the occasion, picked up a brand-new beach umbrella bought in Graham's honor, and left the house with Graham to walk the hundred or so yards down a steep path to the shore to join the family. Previously, his attitude toward the ocean had been: *"I think having the ocean nearby is an attractive feature, and fun to listen to at night, and all that kind of stuff. But actually getting in it—I feel I'll save that for my old age."* But now, after sitting on the sand for a bit, looking at the water, he waded gamely into the Pacific. By all reports, Susie and the Buffett kids "went into convulsions of laughter" at the odd sight.

What Susie thought about this extraordinary gesture is not known. But Warren's explanation of it is on record: "Only for Kay," he says. "Only for Kay."

On Sunday morning, they dropped their company manners and Susie sleepwalked through cooking bacon and eggs for Graham, eating nothing herself, while Warren sat nearby spooning chocolate Ovaltine from a jar.[8] After breakfast, he and Graham resumed their tête-à-tête. At some point, Graham told him that she wanted him to join her board but was waiting for the right time. She knew that some of her board members, such as André Meyer, would not welcome Buffett. But he asked, "When *is* the right time?" thus forcing her to make up her mind. And so in short order it was done; they agreed that Buffett would join the board of the Washington Post Company. He was elated.

That afternoon, Buffett left his family at Emerald Bay and drove Graham to the Los Angeles airport. *"On the way, all of a sudden, she looked at me like a three-year-old kid. Her voice changed, and her eyes, and she said, basically pleading, 'Just be gentle with me, please don't ever assault me.' I learned later that Phil and some people at the paper, to get their own ends or for sheer enjoyment, would push her buttons just to watch her fall apart. It was cruel on the part of Phil; it was manipulative on the part of the rest. It was very easy to do; the button still worked."*

At summer's end, on September 11, 1974, Buffett officially joined the board, which catapulted him from a star investment manager from Omaha to official adviser at one of the most important media companies in the world. Even at that first meeting he could see that Graham had a habit of pleading with the board for help. Buffett thought, This won't do. You can't put yourself in that position as a CEO. But he didn't yet know her well enough to say anything. Instead, he educated himself about the *Post* board, which was full of many

prominent and influential people, and began to tiptoe his way through the powerful, jockeying men who were used to dominating Graham. He was a quiet board member, however, and used his skills behind the scenes.

Buffett at the time was preoccupied with far more than just Kay Graham and the *Washington Post.* The market, which investors had expected to rally in 1974, instead was in the full throes of collapse. Pension-fund managers had cut back their stock purchases by more than eighty percent. Berkshire's own portfolio looked as though someone had given it a severe hedge trimming, shearing off nearly one-third in the second Great Crash, the kind that comes along only a few times in a century.

Munger had kept his partnership open after Buffett had shuttered his. Now its value was plunging. His performance had always been more volatile—in both directions—than the market's. For the past couple of years he had managed decent though unspectacular returns. But by 1974 Munger found himself in trouble, his partners losing nearly half of their money.[9] Like Ben Graham half a century earlier, he felt obliged to make their money back.

"If you're put together properly, you have a fiduciary gene like Warren and me," he says, "and if you've told people, 'I think I can get you extraordinary results,' then you really hate the idea of not delivering for them."

As for himself, "Certainly the quoted value of my capital went down. I didn't like it, but just think about how many years could go by—what difference does it make at the end whether I have X dollars, or X minus Y? The only thing that bothered me was that I knew how hard it was on the partners. That was what killed me—the fiduciary aspect of my position."[10]

Munger still had about twenty-eight limited partners, including some family trusts. To earn back losses of half his capital, he would have to more than double the remaining stake. The value of Blue Chip Stamps would have a significant bearing on whether he could accomplish that.

Bill Ruane's Sequoia Fund was also in trouble. It had started with $50 million from Buffett's former partners and invested its money well by taking large positions in undervalued stocks like Tom Murphy's Capital Cities Communications. This was not the kind of stock that money managers who had piled into glamour television and electronics stocks a few years earlier were buying now. They had galloped all at the same time straight the other way, into the arms of the "Nifty Fifty," a small group of the largest, best-known companies.[11]

"In this business," Ruane said, "you have the innovators, the imitators, and the swarming incompetents." The imitators and the swarming incompetents were now at the wheel, and the stocks that Ruane and his partner Rick Cunniff had bought in 1970 had been cut in half. Compounding their problems, they had bought a seat on the New York Stock Exchange just before prices for seats fell over a cliff.[12] The timing of Sequoia's opening was obviously inauspicious—Ruane had agreed to start up just as Buffett was shutting down due to lack of opportunities. Sequoia had underperformed the market every year—cumulatively by a dramatic amount.[13] The Sequoia Fund's worst year yet was 1973; it had lost twenty-five percent, compared to the market's loss of fifteen percent. It was on its way to another terrible year in 1974. Ruane's largest backer, Bob Malott, was incensed. He was already known as a "ballbuster" around the halls of Ruane, Cunniff for his habit of calling to complain about minor discrepancies in his family's accounts. Now, he berated Ruane for buying a seat on the exchange and for his poor performance with such persistence that Ruane feared he would pull his capital out of the firm.[14] Buffett, however, remained serene in the knowledge that Mr. Market's opinion of a stock's price at any time had no bearing on its intrinsic value. He knew which stocks Ruane and his partners had bought and was confident that they had made good decisions.

If not exactly an ego booster, because of the snooty staff, Buffett's 1969 meeting of the Grahamites at the Colony Club had at least provided mutual support in a challenging market. Since then Buffett had named them the Graham Group; Ed Anderson had planned the third outing in Williamsburg; Charlie Munger the fourth in Carmel, California. In 1971, Buffett made the meetings biennial. Out of loyalty, he let Ruane invite Malott—a favor normally verboten—and Malott and his wife, Ibby, became members for the next meeting in Sun Valley in 1973, planned by Rick Guerin.

Malott, mightily impressed by the whole affair, stayed in Ruane's fold, even though his complaints continued at a frequency and volume that still made Ruane fear his defection. By the end of 1974, however, while the market was down by more than twenty-five percent, the Sequoia Fund had at least managed to produce a smaller loss than the market's.

Nonetheless, the market's cumulative toll on the Sequoia Fund was such that Henry Brandt and John Loomis, Carol's husband, both of whom had gone to work there, feared the worst and cast off from what seemed a sinking ship.[15]

Forbes captured Buffett's attitude in an interview that November, which opened with a juicy quote: Asked how he felt about the market, "Like an over-sexed man in a harem," Buffett replied. "This is the time to start investing."[16] He went on to say, "This is the first time I can remember that you could buy Phil Fisher [growth] stocks at Ben Graham [cigar butt] prices." He felt this was the most significant statement that he could make, but *Forbes* didn't include it; a general audience wouldn't understand the references to Fisher and Graham.[17] When *Forbes* asked for specific stock ideas, instead of mentioning what he was buying or had bought, Buffett turned impish and did one of his little experiments to see how well the reporter had researched him via other *Forbes* articles. "A water company is pretty simple," he said, adding that Blue Chip owned five percent of…San Jose Water Works. The reporter took the bait; San Jose Water Works went in the story with no reference to the earlier piece insinuating he'd bought it using insider information.

But despite his enthusiasm for the market so far in 1974, he had invested at a trickle, and mostly moved money around into Studebaker-Worthington, Handy & Harman, Harte-Hanks Newspapers, and Multimedia, Inc., and added to his Coldwell Banker position. He bumped up a few of his other shareholdings by ten or twenty percent. He had also bought 100,000 shares of Blue Chip from Rick Guerin. *"He sold me at five bucks because he was getting squeezed,"* Buffett says. *"That was a brutal period."*

The "harem" comment had a double meaning: While it was, indeed, the time to start investing, Buffett, for the most part, could look but not touch. One of National Indemnity's business partners, an aviation broker, had run amok, selling money-losing aviation-insurance policies. The company had tried to stop the agent by revoking its authority but for several months was unable to shut it down.[18] The accounting records were a shambles and the losses were unclear. National Indemnity had no idea how high the bill for the "Omni affair" would run, but worst-case estimates ran as high as tens of millions of dollars. The hope was that they were much less, because National Indemnity did not have tens of millions. Buffett was sweating.[19]

Within a couple of months—by early 1975—his problems compounded monumentally. Chuck Rickershauser, a partner from Munger's law firm, now renamed Munger, Tolles & Rickershauser, called him and Munger to say that the Securities and Exchange Commission was considering pressing charges against them for violating securities laws. What had seemed like a brewing but manageable problem had now exploded into a full-scale emergency.

Rickershauser had first started doing legal work for Buffett and Munger during the See's transaction. More recently he had been fighting a rear-guard action, ever since an SEC staff lawyer had called him and said he had some questions. Under the assumption that the matter was routine, Rickershauser had directed the man to Verne McKenzie, Berkshire's controller.

When McKenzie's phone rang in Nebraska, he picked it up to find the head of the SEC's Enforcement Division, Stanley Sporkin, the much-feared "tough cop" of the business world, on the other end of the line. Sporkin looked as though he spent his evenings hunched droopy-eyed under a desk lamp, personally drafting the charges against large corporations that for the first time in American history had frightened a remarkable number of them into settling with the SEC without ever setting foot in court.[20] On the phone, he interrogated McKenzie on a wide range of subjects, from Wesco to Blue Chip to Berkshire and beyond. His tone was not friendly, but this, McKenzie had assumed, was simply his modus operandi. On the other hand, McKenzie did get the impression that Sporkin thought if you were rich, you must have done something wrong.[21]

When Rickershauser heard that Sporkin, rather than a staff lawyer, had personally called and grilled McKenzie at length, he nearly had a heart attack. Sporkin's batting average had made his jowly profile among the most recognizable in American business. In a practical sense he had more power than his boss, the chairman of the SEC.

What seemed to have drawn the SEC's attention was a project of nearly two years in which Buffett and Munger were trying to delicately untangle the many strands of spaghetti that connected the several companies they owned. Their first step had been to try to merge Diversified, the least essential piece, into Berkshire Hathaway. By 1973, Diversified had become little more than a vehicle for buying Berkshire and Blue Chip stock. But the Securities and Exchange Commission—whose approval was required—had delayed the Diversified deal. Munger had told Buffett that this was not anything serious. He directed Rickershauser to "invite anyone in the SEC" who had questions to call him directly, "if this will expedite his work and clearance of our papers."[22]

Instead, over the next eighteen months, the SEC staff seemed to have nosed around looking at Blue Chip Stamps and other investments; it concluded that Buffett and Munger had smashed up the Wesco–Santa Barbara deal deliberately by offering a high price for a quarter of the stock for the purpose of taking over the rest. At least, that must have been how it looked to Santa Barbara, for it had apparently turned in Blue Chip to the SEC.[23]

For the first time they all realized that Blue Chip was in trouble.[24] No sooner had Buffett achieved the glory of joining the *Post* board than his and Munger's need for legal services was about to grow with stunning rapidity. Rickershauser, who already knew what it was like to work with Buffett, had once explained to a colleague that "The sun is nice and warm, but you don't want to get too close to it."[25] He would spend the next couple of years testing what could be called Rickershauser's Law of Thermodynamics.

In February 1975, the SEC issued subpoenas and launched a full-blown investigation of Blue Chip's purchase of Wesco: *"In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated, Warren Buffet [sic], HO-784."* The commission staff speculated that Buffett and Munger had committed fraud: *"Blue Chip, Berkshire, Buffet* [sic], *singly or in concert with others…may have engaged in acts which have, directly or indirectly, operated as a device, scheme, or artifice to defraud; or included an untrue statement of a material fact or omitted…"*

The commission's lawyers zeroed in on a theory that Blue Chip had planned from the beginning to take over Wesco Financial but had not disclosed that fact; that Blue Chip's purchases of stock after the Santa Barbara deal dissolved must have been "tender offers" that were never registered with the SEC.[26] This latter charge was most serious and carried with it the risk that the SEC would file, with great fanfare and publicity, civil fraud charges not only against Blue Chip but also against Buffett and Munger personally.

In considering action against a target, Sporkin had a choice. He could prosecute or settle. A settlement was a way of allowing the target to say sorry without having to officially admit guilt; it neither consented to nor denied the charge of fraud but agreed to accept a penalty. And in agreeing to a settlement, the SEC could also choose whether to name the individuals involved or simply to make a deal with the company itself without naming anybody. Being named in a settlement might not be the literal end of someone's career, but there would be no elephant-bumping afterward. Having so recently been elevated into the high and mighty through *Supermoney* and *Forbes* and the board of the *Washington Post,* Buffett began to fight desperately to save his reputation.

Instead, the investigation widened. Under subpoena, Buffett had to open his files—which, naturally, represented a huge and comprehensive collection of documents, just as huge and comprehensive as everything he had ever collected. In violation of his cherished privacy, lawyers from Munger, Tolles sifted out trade tickets, information about recent stock purchases, memos to bankers, letters to See's Candies, notes to Verne McKenzie at the textile mill, and the like and shipped them off to investigators in Washington, D.C. Buffett felt persecuted. He and Munger were being chased in a nightmare by a huge, lumbering giant. To survive, they would have to outrun it.

Letters flew back and forth like shuttlecocks between Munger, Tolles and the SEC. Buffett maintained a veneer of calm, but his back problems were plaguing him. Munger did not hide his agitation.

By March 1975, the investigation had wound its way to a command performance at the SEC. Betty Peters was hauled in. "Is your lawyer here?" they asked. "No. Do I need a lawyer?" she replied. "Well, everybody comes with a lawyer," they told her. "Don't you just want to know what happened?" she asked. They interviewed Peters without a lawyer.

Munger was summoned. For two days—also unaccompanied, for what additional legal counsel could Charles T. Munger possibly need?—he tried to defend Blue Chip against the charge that it was trying to bust up the Santa Barbara merger and to explain why Blue Chip had paid more than was strictly necessary for Wesco's stock. Yes, Blue Chip had thought about getting control, he said, but those plans were only "remote and contingent" until the Santa Barbara merger blew up. This discussion became somewhat circular given his and Buffett's role in talking to Vincenti and their admitted "wooing" of Betty Peters and the Casper family's votes. Munger had a regrettable tendency to interrupt and lecture the SEC staff lawyer, Larry Seidman. "We wanted to look very fair and equitable to Lou Vincenti and Betty Peters," he said.[27] But the SEC lawyers had never met the intractable Lou Vincenti. They could not possibly understand. What about your Blue Chip shareholders? Seidman asked. Seidman saw no reason for Blue Chip to be so generous to Wesco shareholders; Wesco's stock by then was largely in the hands of arbitrageurs.

These were people who had bought Wesco's stock knowing it would rise to the price that Santa Barbara had offered once the deal closed. They partly hedged their bets by shorting Santa Barbara's stock, much as Graham-Newman had once bought Rockwood stock in exchange for cocoa-bean warehouse receipts. But when the Wesco deal blew up, it was as if the price of cocoa beans had collapsed.[28] Why do the arbs a favor by propping up the price?

Munger reached for his ultimate weapon—Benjamin Franklin. "We didn't feel our obligation to the shareholders was inconsistent with leaning over backward to be fair. We have that Ben Franklin idea that the honest policy is the best policy. It had a sort of shoddy mental image to us to try to reduce the price."[29]

Seidman seemed a little baffled by this argument, and even Munger admitted that the details of what had been done did not look good. He begged Seidman to look at the big picture. "As you look at the overall records, we go way beyond any legal requirement in trying to be fair with people to observe the niceties of fair-dealing; I simply hope that you will reach the conclusion that this averages out as not an appropriate case for any sort of prosecution…. If there's any defect at all, it's not intentional."

When Buffett appeared, they asked him why he and Munger hadn't let Wesco go into the tank so they could buy it cheap. *"I think the general business reputation of Blue Chip would not have been as good,"* Buffett said. *"I think someone might have been sore about it."* But why should he care? Because, said Buffett, it was *"important how Wesco management feels about us. You can say, well, we own the controlling interest, so it doesn't make any difference. But Lou Vincenti doesn't really need to work for us…. If he felt that we were, you know, slobs or something, it just wouldn't work."*

Now Buffett—who, like Munger, startled the enforcement lawyers by showing up alone—made himself helpful, venturing back to Washington several times, patiently explaining how Blue Chip worked, expounding on his investment philosophies, and talking about his childhood years in Washington. He made a favorable impression on Seidman, but not on the senior SEC staff lawyer who was in charge of the investigation, and who was known as a "tiger" whose motto was "They shall not pass." He found these arguments unconvincing.[30] The senior investigator's attitude was that nobody who did anything close to the line would ever get by him.[31]

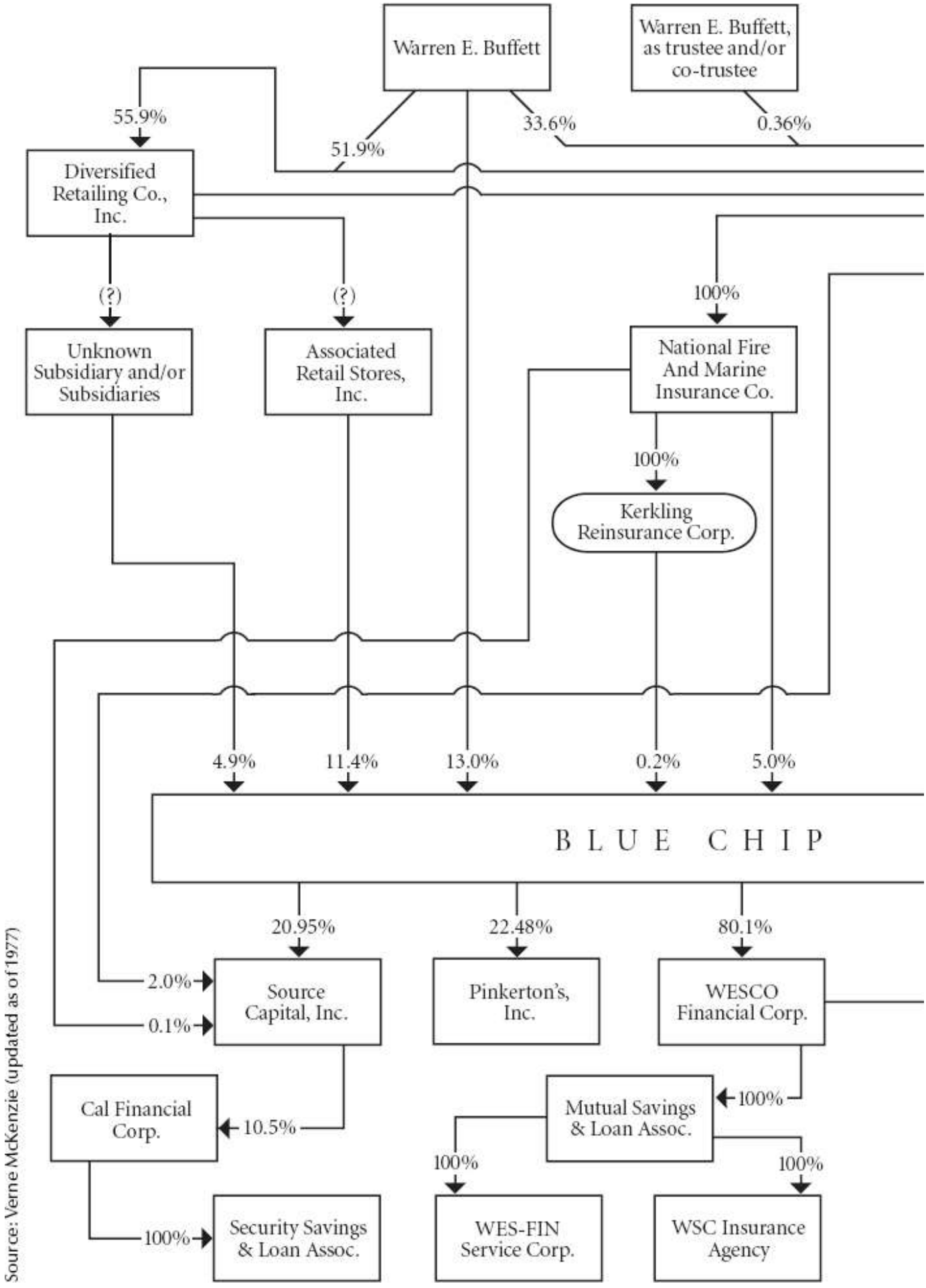
The SEC staff kept delving. It seemed fascinated by the intricacies and complications of Buffett's empire. It even started looking into whether he had traded on inside information about San Jose Water Works.[32] The staff started kicking around Source Capital, the closed-end investment fund that Munger had bought a twenty

percent interest in as a cigar butt and helped turn around. By then, the stock market had recovered. Ruane's Sequoia Fund had made a huge comeback in 1975, up almost sixty-two percent compared to thirty-seven percent for the market. Munger had just about made back his partners' money, with a seventy-three percent gain in 1975. He took no fees for himself, and was winding his partnership down. Explaining why their convoluted empire made sense based on the cheap prices paid for stocks at the time grew harder as the market recovered. The investigation kept growing hairy legs like a tarantula.

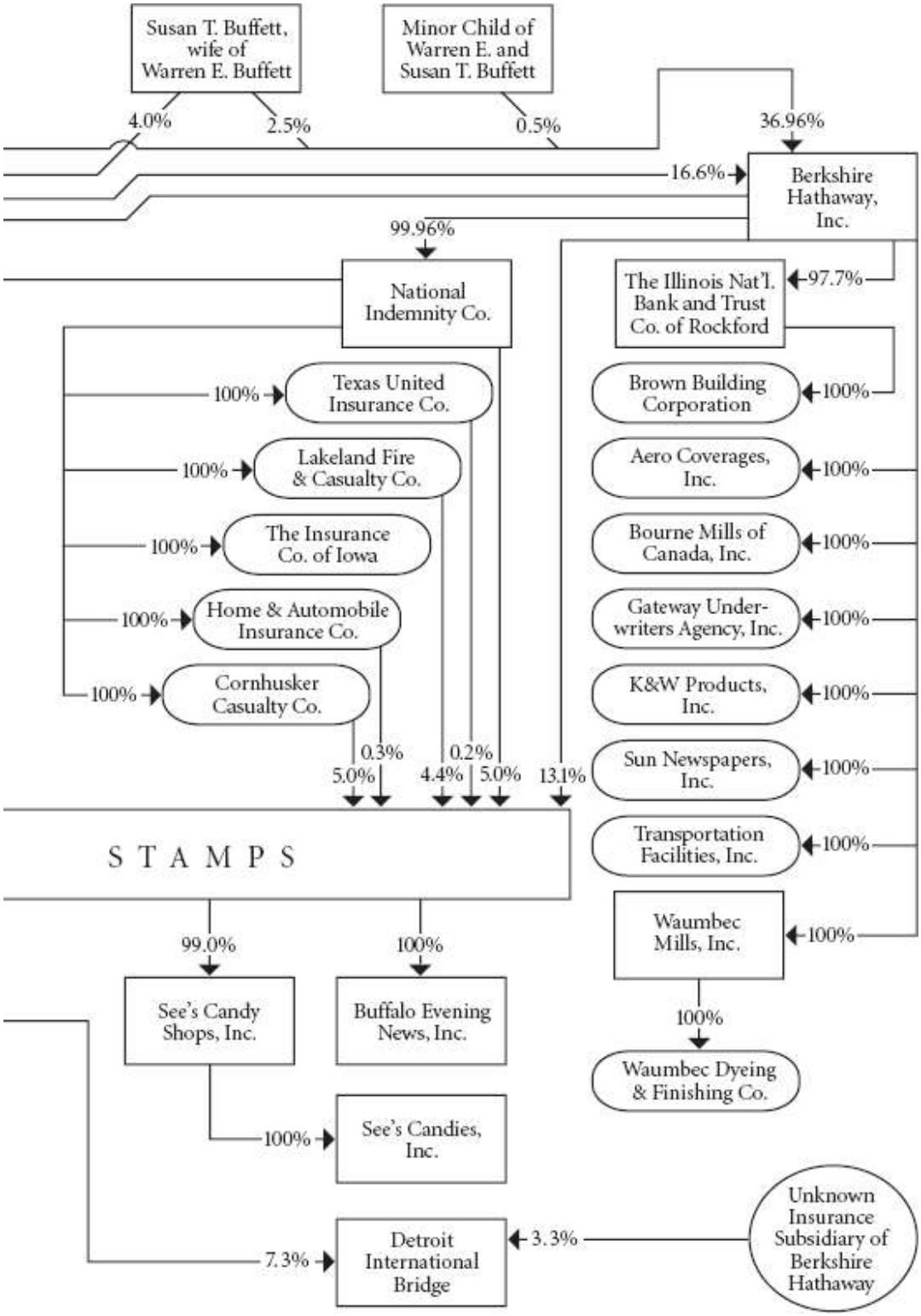
Rickershauser had been studying a chart that showed all of Buffett and Munger's complex financial interests. Buffett sat at the center, buying Blue Chip, Diversified, and Berkshire, Wattling them into so many pockets that it made Rickershauser shudder.[33] Everyone knew Buffett, the great white shark, was virtually helpless to stop himself from acquiring these stocks. If he found ten bucks and spied a share of Blue Chip, Berkshire, or Diversified, he charged, grabbed, and threw the stock in the nearest drawer. After he and Munger had bought the first twenty-five percent of Wesco, Rickershauser had finally advised Buffett to buy stock only through formal tender offers to avoid the appearance of impropriety.[34] The complex cross-holdings that Buffett had created made it seem as though he was trying to hide something. Rickershauser looked at the crazy diagram and fretted, "There's got to be an indictment in there somewhere."[35] He didn't think the SEC would have enough evidence to convict, but it would be awfully easy to accuse.

In the greater sense, Munger was a two-bit player, his financial stake minute compared with Buffett's. He had been snared as a petty accomplice. But since Blue Chip was his territory, he was a principal in the Wesco saga and thus played a central role in the SEC's questioning.[36] He admitted to Seidman, "We do have a very complicated set of business affairs, and I think we have learned, to our regret, that that may not be too smart. But we tried to keep all the balls in the air and properly sequenized with the other balls and handle them honorably."

Despite the pair's protestations and the fact that it could find nothing wrong with the San Jose Water Works or Source Capital deals, the SEC kept going. The tiger of a prosecutor now recommended to Sporkin that the SEC file charges against Buffett and Munger personally. He was unswayed by Buffett's and Munger's testimony and believed that they had intentionally quashed the Santa Barbara merger by overpaying for Wesco's stock. He was unsympathetic to the "who was harmed?" explanation for paying more for the stock and thought the pair was splitting hairs too fine in its explanations of events.[37]



Source: Verne McKenzie (updated as of 1977)



Rickershauser wrote Sporkin directly. He pleaded with him not to prosecute Buffett and Munger, "individuals who value their good names and reputations as their most priceless possessions," because "many people, probably most people, assume evil conduct on the part of anyone civilly prosecuted by the commission." Even if Buffett and Munger consented to a settlement without admitting or denying the charges, merely filing them would cause "terrible, irreversible damage" because "the good reputation of the commission automatically and inexorably destroys the good reputation" of the defendants. "A giant's strength should be used with great discretion," he urged. "The risk from inadvertent oversights in business should not become so onerous that people who value their reputations are deterred from participation."[38] He begged to save Buffett's and Munger's reputations by offering to consent to an order on minor, technical disclosure violations on behalf of Blue Chip only, as long as the consent decree did not name any individuals.

The panic inside Buffett's mind can only be imagined. Within the office, he did his best to maintain an

imperturbable facade so as not to alarm his office staff, any of whom might be interviewed by the SEC.

Rickershauser worked like a stevedore to portray his clients as upstanding citizens from the perfect model families. He sent in biographies of Munger and Buffett to the SEC, stressing their charitable work, the many boards on which they served, Howard Buffett's tenure as a Congressman, and the millions of dollars of taxes that Buffett had paid to the government since filing his first tax return at age fourteen. Buffett obviously had been grinding away at this document as if his life depended on it.

Munger was resigned. "If a policeman follows you down the road for five hundred miles," he said to Buffett, "you're going to get a ticket."

Then Rickershauser made a further proffer to Sporkin, put delicately: "The complex financial interests of Mr. Buffett and Mr. Munger…have apparently raised the impression that compliance with various legal requirements is becoming difficult," he wrote, noting the pair had tried to comply with both the spirit and the letter of the law. "They now wish to simplify their holdings as rapidly as they can."[39]

In their interviews, the SEC lawyers had already explored what simplifying would mean. *"Sometime in the future, it is certainly possible that we would merge Blue Chip with Berkshire,"* Buffett had responded to their question, *"but Blue Chip has a lot of legal problems, and until some of those are resolved, it might be hard to arrive at what we would feel reasonably sure would be a fair exchange ratio. If I had my preferences, it would be that someday they would be merged. So hopefully we would have more or less the same businesses we have now, but less complications. I don't really like these complications. It may look like I like these complications. I don't have a great staff to handle it all. It seemed fairly simple while we were doing it,"* he said, *"but not simple now."*[40]

Asked by an SEC investigator if Buffett had "contingency plans" to simplify things, "Oh, does he ever," said Munger. "He has about twice as big a contingency plan as before this investigation started."[41]

In considering the proffer, says Sporkin today, much depended on Rickershauser. He "was one of those few lawyers that I've met in life that, whatever he told you, you could go to the bank on." Sporkin viewed Rickershauser as not only a brilliant lawyer but truthful, straightforward, and upright, incapable of being disingenuous. Rickershauser told Sporkin that Buffett was "going to be the greatest person that Wall Street has ever seen" and that "he was the most decent, honorable person you would ever meet." Coming from almost anyone else, Sporkin would have dismissed this as rhetoric, but coming from Rickershauser, he took these statements to be both sincere and probably well-judged.[42] Sporkin felt he had as great a duty to absolve as to convict. He thought that a prosecutor had to differentiate between a fundamentally honest person who had made a misstep and a crook. When it came to crooks, his job was to put 'em away. His view of Buffett and Munger was that they had certainly misstepped, but that they were not crooks.[43]

And so the giant tapped Blue Chip gently on the wrist.[44]

The company consented to an SEC finding in which it neither admitted nor denied that it failed to notify investors it was trying to bust the Santa Barbara merger in buying Wesco's stock and that Blue Chip had artificially propped up Wesco's market price over the course of three weeks.[45] Blue Chip promised never again to do what it had not admitted it had done.[46] The consent decree named no individuals. The publicity over the event had been trivial and would fade. Buffett's and Munger's records and reputations stayed clean.

Two weeks later, the SEC named Buffett to a blue-ribbon panel to study corporate disclosure practices. It was forgiveness and, above all, a fresh start.[47]

How Not to Run a Public Library

Washington, D.C. • 1975–1976

One day in early 1975, Susie Buffett's friend Eunice Denenberg came over to the house and sat on the dog-hair-covered sofa in the family room. Susie turned her back so she wouldn't have to face her friend and turned on the tape deck. Then she sang. Denenberg pronounced approval. They talked about Susie's dream of singing professionally, which she was too diffident to do anything about herself. Denenberg went home; then she called back the next day and said, "This is your agent." She enlisted Bob Edson, an assistant music professor at Midland College, to create a backup band and got Susie a gig at the Steam Shed, a nightclub in Irvington, the tiny town on Omaha's outskirts where she and Dottie had once formed the choir in her father's church. Susie was nervous, but the rest of the family was enthusiastic. Only Doc Thompson, who said, "I don't know why you want to sing in bars," had any doubts.

The night of Susie's first public performance, before a crowd made up of about thirty-five friends, she was so anxious that she asked Warren not to come. Talking and greeting people in a long sequined dress, she stalled until Denenberg pushed her out onto the stage. From Aretha Franklin's "Call Me," to Sinatra's "You Make Me Feel So Young," to Blood, Sweat & Tears's "You've Made Me So Very Happy," to what she said was one of her favorites, Roberta Flack's "The First Time Ever I Saw Your Face," her choice of music was soulful, passionate, and romantic. Susie found that the audience responded to and returned her warmth.[1] The same pulse and flow she got from connecting with people individually came through in a wave when she sang to a group in an intimate space. This was her special gift, transmuted and magnified. She wanted to become a cabaret singer.

A few weeks later, however, Susie was pulled away from rehearsals for her next performance to go to Carmel, California, to help her sister-in-law Bertie, whose youngest daughter, Sally, was dying of a brain tumor. Bertie's marriage to Charlie Snorf was crumbling at the same time.

When Sally died, Bertie discovered that the tragedy had unlocked her frozen emotions. "Sally was a wonderful person, amazing and intuitive and so strangely insightful about people and feelings for a seven-year-old," Bertie says. "Once she told me, Mom, you and Dad are lonely together. I think when someone dies who's very close to you, they will you something. When Sally died, what she willed to me was that I couldn't deny my feelings to myself anymore. It was like a copper wire went straight into my heart, and I couldn't cover up my feelings from then on."

Bertie had always had a special relationship with Susie, but when her heart opened after Sally died, suddenly they connected on a different level. "Susie was somebody I loved who was so important to me," says Bertie. "She was the only person I could talk to about my feelings when there was nobody else in my family whom I could do that with."

Her brother, however, reacted differently to his niece's death. He called some friends who had visited the Buffetts in Laguna and told them about Sally. "We were so shocked because we'd all been together a week or two before," says Mary Holland. "I asked him what happened, and he said, 'I can't talk anymore,' and got off the phone."

Warren at the time had many distractions to assist him in evading his feelings. He was finishing up the SEC investigation. He was so fascinated with Kay Graham that he literally could not get enough of her. When Warren got obsessed with something—especially someone new—he could not stop thinking about it or them; this came across to a new person as a wholehearted, flattering, and even overwhelming attentiveness. When business arose, however, he snapped back to it in a split second with all the fierce intensity his steely mind could muster. As Munger put it, Buffett "never let his minor obsessions interfere with his major obsession."[2] Katharine Graham, however, was no minor obsession. Some time earlier, he had decided to see what sparks

would fly when she brushed up against Munger, the greatest smart-ass he knew. *"Kay was the kind, if I gave topics of things for her to do, she was very dutiful. If I told her to read some terribly complicated financial statements, she was going to follow my instructions, no matter what. I told her, 'You have to meet Charlie.' I was laying it on thick. Finally, she was out in Los Angeles and went to meet Charlie.*

"So she sat down in that scrubby office of Charlie's, and immediately she pulls out a yellow pad so she can take notes on what he's saying. Charlie just loved it—the idea that everything he was saying was so important that the most powerful woman in the world had to be taking it down as fast as he could talk."

Munger could not resist this encouragement to show off. He had been corresponding with Graham, and wrote to her, "You are taking me back thirty years or more and making me behave like Tom Sawyer with Becky Thatcher, and I figure that Warren is silly enough for both of us."[3]

But however giddily she might be making Warren behave, he was also taking Kay to business school in a serious way. *"Kay had had me trying to explain accounting to her on the side. I'd bring these annual reports to Washington. And she'd say, 'Oh, Warren, lessons.' There I was, teaching again."* He considered her son Don "unbelievably smart," with "as close to a photographic memory as anyone I've ever run into." As a sign of reassurance to the family, Warren had signed the voting proxy on his shares over to Don. He now stayed at Kay's house when he came to Washington for monthly board meetings. She didn't approve of the way he dressed, but *"I told her, 'I'll dress as well as Don dresses,'"* Buffett says. *"He and I had a sort of united front."*

Buffett felt that Kay was *"very, very smart, and in many ways wise, as long as you didn't go into those areas where the wounds were. But she understood people well."* As they grew more intimate, he felt he could say something to her about the way she presented herself to her board. He knew she was less needy than she herself realized. One day he took her aside and said, "You can't plead for help anymore from the board. It's just not the position you want to be in." And so, he says, she quit.

The business and personal ties between the Grahams and Buffett had become close enough that Warren invited Katharine and Don to join the Graham Group at their 1975 meeting, at Hilton Head. Don made an immediate impression with his unpretentious manner, while raising its already high average IQ. Many people quickly saw beneath Kay's brittle, patrician veneer to the vulnerability and humility that had endeared her to Warren. Thus she fit easily with most of the group despite her queenly presence, worldliness, and connections. She made a sincere effort to get along with everyone—although her deep belief that men were far superior to women wasn't lost on the women at the meeting. The beautifully dressed, perfectly coiffed Graham, an icon among them, would slide casually into a chair amid the men with a cocktail in her hand; somebody would utter a political opinion, and she would respond "Henry thinks thus-and-so"—speaking of Kissinger. It was impossible not to be impressed.

Susie Buffett sang for the group for the first time at Hilton Head. Bill Ruane brought a chart showing the price of gold, which for five years had surged past Berkshire Hathaway's. He asked, the others thought jokingly, whether he should be buying metal. It would turn out that he had, in fact, been buying gold coins, and made a nice bit of money on it.[4]

Henry Brandt pulled Buffett into a separate room and asked him to promise that Berkshire stock wouldn't drop below $40. By October 1975, the stock had been cut in half after trading at $93 just two years before. "Look, I love you," Buffett recalls saying, "but I can't promise you that." "The world is ending," said Brandt, or words to that effect. "I've got every dollar I own in this stock."

The world continued to end. Even though the rest of the stock market was recovering, Berkshire was not. Brandt panicked and called Buffett, who offered him $40 a share. Then Brandt called Walter Schloss and said, "Warren will pay me forty dollars and I want fifty. What should I do?"

Schloss was the last champion of cigar butts. At the Graham Group meetings, the others razzed him about his "buggy-whip" portfolio of bankrupt steel companies and destitute auto-parts makers. "So what," said Schloss. "I don't like stress and I sleep well at night." He filled out the simple checklists, applying Graham's

philosophy in its purest form. He went home from his desk in the closet at Tweedy, Browne at five o'clock every evening, and his results were phenomenal.

Now Schloss was dismayed to hear Brandt telling himself he was better off without Berkshire stock in a way that contravened this whole cigar-butt philosophy. Schloss worked on him for two hours, saying, You've got the smartest guy in the world managing your money, in effect, and Warren doesn't charge you anything, you're making a big mistake to sell. "I thought I convinced him," says Schloss. But the U.S. economy by then was in so much trouble that New York City was almost bankrupt; the country was in a mood of such profound pessimism that it affected people's judgment. "On Monday he called his broker," says Schloss, and began selling—his wife's shares, not his own—until half their shares were gone.[5]

Immediately afterward, President Ford refused a bailout of the New York City economy; the *New York Daily News* captured the feeling of the times in a huge headline: "Ford to City: Drop Dead."[6]

The partners who had been given Berkshire stock in 1970 when it was trading around $40 seemed no better off five years later. "To anybody who held our stock," says Munger, "it looked like not much was happening favorably for a long, long time. And that was not the way our partners, by and large, had previously experienced things. The paper record looked terrible, yet the future, what you might call the intrinsic record, the real business momentum, was gaining all the while."

Buffett's own net worth, based on where the stock was trading, had likewise been sliced to the level of when he closed the partnership. Yet despite this apparent destruction of wealth—which would have frightened almost anyone else—his pulse never seemed to flutter. He just had the companies he controlled keep buying, and buying, and buying. In 1974, before the SEC investigation began, Berkshire owned twenty-six percent of Blue Chip. Although he put the brakes on at Berkshire during the 1975 Omni aviation affair, through Diversified, he bought Berkshire stock. By 1976, he was buying both Berkshire and Blue Chip through Diversified. When all was said and done, Berkshire would own more than forty-one percent of Blue Chip—so much that he and Susie owned, personally and through Berkshire Hathaway, thirty-seven percent of the stock all by themselves.

And as long as Berkshire was cheap in 1976, he thought of another way to capitalize on the situation, getting his mother, "who cared nothing about money," to sell her 5,272 shares of Berkshire to Doris and Bertie. For $5,440 plus a $100,000 note, they each got 2,636 shares of Berkshire—paying the equivalent of $2 a share in cash.[7] Buffett, who viewed debt as almost sinful, thought Berkshire was so cheap at $40 a share that he was willing to have his sisters borrow an extraordinary ninety-five percent of the purchase price to buy it. At the rate he obviously thought he could compound the stock's value, buying on these terms would make his sisters rich.[8] And it would also avoid an enormous estate tax bill.

"It's what my mother wanted to do, but it was the perfect time. That was probably the greatest move of all time. It will never happen again. That was a once-in-a-lifetime situation."

Valuable properties were being sold everywhere for a pittance. Around the same time, Tom Murphy came to Warren with the chance to buy a television station. Buffett realized it would be a terrific deal but that he couldn't buy it because it would conflict with the Washington Post Company, which also owned television stations. Since he sat on the *Post* board, it would put the *Post* over the limit the FCC allowed.[9] "What am I involved with that I don't own?" he asked himself. He actually had to think about it to find something. Then he remembered that he didn't own Grinnell College. The first station they looked at had already sold, but at Buffett's recommendation, Grinnell bought a Dayton, Ohio, station for $13 million, putting down only $2 million. Sandy Gottesman arranged debt financing for the rest. The broker who sold it to Grinnell called it the best deal he had seen in the past twenty years.[10]

There were some good reasons, however, why stocks were cheap and cities like New York were close to bankruptcy. Along with rampant inflation, out-of-control labor costs and unstable labor relations were strangling the economy. Newspapers were among the most severely affected businesses. Right after the Hilton Head meeting, on October 1, 1975, at four a.m., the *Washington Post*'s union contracts expired. Some

of the *Post*'s pressmen disabled the fire extinguishers, drained the oil, stripped the gears, and ripped electrical wiring and operating machinery out of the presses. They slashed the rolls of newsprint, set fires, and left one pressroom foreman bleeding from a gaping head wound.[11] Graham arrived within an hour to a building glaring under the lights of television cameras and engulfed with fire engines, police, and hundreds of picketers.

The *Post*'s relations with some of its unions "were almost literally on a drunk," recalls Don Graham.[12] The militant workers viewed management as "incompetent," Kay was to later write, "yet able enough to deviously make them scapegoats for all of the problems that could more clearly be laid at management's own door."[13] After years of surrendering to sabotage and work slowdowns, with nine union contracts set to expire at once, management negotiators armwrestled with labor in an atmosphere of tension and frustration.

Most of the unions other than the pressmen had stayed at work, especially the all-important Newspaper Guild of journalists. Using borrowed printing plants and helicopters to move key people past picket lines, the *Post* started getting out an attenuated paper after only one day's disruption. But as the strike ground on, Graham became paralyzed with fears that her paper was committing suicide. The managers and scab workers could produce only half the number of papers at a quarter of their normal size, and advertisers marched steadily over to the *Post*'s archrival, the *Evening Star.* Within days, the *Star* was "so thick with advertising that we could hardly lift it."[14]

"They called me back because they were actually afraid Kay would fall apart. We crossed the picket line together. Kay was gutsy about that. But I saw her burst into tears when she picked up the Star. The Star was trying to out-Post the Post, copying their format, hiring their people. She'd wake up and call me in the middle of the night."

When she felt threatened, the woman that her editor Howard Simons called the "Bad Katharine" flew down the chimney.

"It wasn't really the Bad Kay. It was the Insecure Kay. If she got feeling insecure, she could get pretty shrill. Occasionally some incident would set her off, and then she would react like an animal. It was as if she felt nobody was on her side. She felt cornered. And nobody would quite know what to do. That's when they would call for me. Phil hadn't been on her side, and her mother hadn't been on her side. The executives at the company hadn't always been on her side. And so she always had this sense in the back of her mind that she was in an unfriendly environment and it could be triggered by some incident.

"But she always knew that I was on her side. That didn't mean I agreed with her on everything or ate everything she wanted me to eat. But I was on her side. And I always would be."

The Bad Katharine bore some similarities to Leila Buffett. And Warren took an obvious pride in being the one person who could win Kay's trust and keep the Bad Katharine at bay.

Buffett had developed so much discernment about people's motivations by now that he understood what was driving everyone around Graham and helped her gain perspective. It was a measure of what Susie had done for him that he could transmit some of her discernment to others. His antennae for people's reactions were sharp. He could help a person who felt threatened tell the difference between somebody who was actually dangerous and someone who was simply acting from fear.

"She thought Warren walked on water—and he did," says board member Arjay Miller. "Warren was open, and she had confidence in him." For the right person, Buffett could instill an ability to see all sides nonjudgmentally, an ability that Susie had instilled in him, and this marvelous gift of self-confidence and security could be internalized, so that it was not dependent on his presence. But Kay was so insecure, "I don't think he ever really got her to do that," says Miller, "although if anybody could have, it would have been him." She needed his actual presence.

For the next six months, the *Post* would continue to publish while navigating fruitless negotiations, threats,

violence, a logistical war of nerves, and a constant struggle to keep the torn Newspaper Guild from striking in sympathy. People were tackling all sorts of incongruous jobs to get the paper out; Don Graham worked as a paper handler, pushing huge, heavy rolls of newsprint to the presses.

"She had people telling her, including some of the people she respected most, 'You've got to give in or you're going to lose.' They were afraid, they hated not publishing and seeing the Star gain on the Post.

"So I was the countervailing force. I said to her, 'I will tell you before the tipping point is reached.' The tipping point is the point at which the other guy becomes dominant, and after you go back, he is still dominant. There are fifty variables involved: the attitude of your employees when you come back, the impression that you've left on the community, the degree to which advertising has gotten better results from having shifted over. You're gauging the likelihood of people changing their habits. They couldn't get our columnists, or our comics, so the question is, at what point does it become more of a habit for them to buy the other paper?

"That's probably what did the most for her. She believed me, and she was right to believe me. All I had were her interests at heart, and she believed that I knew enough about the business."

But while "Warren encouraged her, it was her backbone, not his," stresses George Gillespie.[15]

Her backbone had to be strong enough to support the whole company. Although nearly all of the *Post*'s employees other than the pressmen stayed on the job, the constant threat of violence hung over those who crossed the picket lines. Their tires were being slashed, and their families were getting threatening phone calls at home. A striker carried a placard that said "Phil Shot the Wrong Graham." To keep morale up, Graham and Buffett and Meg Greenfield rolled papers in the mailroom. Buffett loved it, working circulation once again.

Two months into the strike, the *Post* had made a final offer to the pressmen, who rejected it.[16] The strike dragged on, unresolved. Graham began to hire replacement workers, breaking the strike. The pressmen carried on picketing as if there was a chance of negotiation. But over the next few months, the paper gradually won back the remaining unions, readers, and advertisers, even though the picketing and bad publicity continued through the spring.

Just as Graham was slowly rescuing her company,[17] Buffett and Munger had finally reached their settlement with the SEC. Now Buffett invited Munger for a steak dinner down at Johnny's Café near the stockyards to finalize their "simplification" plan. He had decided to stop managing money for FMC on the side. Next, Blue Chip would sell its interest in Source Capital,[18] and Berkshire and Diversified would refile their merger plan, formerly quashed at the beginning of 1975 by the SEC investigation. At Betty Peters's request, Wesco, owned only eighty percent by Blue Chip, would remain a public company, and Munger would be chairman of that. Munger and Buffett deferred merging Blue Chip into Berkshire Hathaway until they could more easily agree on the relative values of the companies.

With both Berkshire and the *Post* emerging from the tumultuous times that had consumed his attention for so long, Buffett's business routine began to normalize. The *Post* board meetings lost their edge of emergency, and Graham began thinking of expanding her empire.

Newspapers at the time were being snapped up left and right. *"Kay really wanted to buy newspapers. But above all, she didn't want other people to buy them instead of her,"* Buffett says. "Tell me what to do," she would beg. Buffett had gotten her to stop pleading for help from the rest of the board, but she still pleaded for help from him. *"I would just make her make the damn decision,"* he says. He helped her understand that it was always a mistake to pay too much for something you wanted. Impatience was the enemy. For a long time, the *Post* did very little and grew slowly. Buffett taught the Grahams the immense value of buying their company's own stock when it was cheap to reduce the shares outstanding. That increased the size of each slice of the pie. Meanwhile, the *Post* avoided making expensive mistakes and became much more profitable as a result.[19]

Buffett, used to doing the taking, for the first time found himself in the giving role and discovered that, with Graham, he liked it. *"She would talk to me about some business policy and then she'd talk to some other guy back home, and they'd know how to scare the hell out of her. She knew they were doing it, and she didn't like it, but she couldn't get over it.*

"Eventually I told her my job was to get her to see herself in a regular mirror rather than a fun-house mirror. I really wanted her to feel better about what she was doing. Basically, I enjoyed trying to build her up. And I had some success, although I started late in life with her."

Yet, wrote Munger to Graham about Buffett, "I can see damn well whose ways, predominantly, are actually being mended."[20] Buffett began to be seen out with Graham more and more. She made it her job to try to give him some polish.

"Kay tried to upgrade me a little. It was just very gradual and not so I would notice. It was very funny. She worked so hard to sort of remold me, but it didn't work. She was a hell of a lot more sophisticated than I was, that's for sure." Buffett learned that Graham thought it was uncouth and disgusting to eat out in restaurants. *"Around Washington your cook was a big point of pride. The highest compliment you could pay somebody at a party was, 'I'm going to try and hire away your cook,' or 'You must have brought your cook over from France.' Kay cared about that, like everybody in Washington. So her dinners tended to be quite fancy, except that she would make exceptions for me."*

Graham's chef found the restrictions imposed by cooking for Warren a challenge. *"Broccoli, asparagus, and Brussels sprouts look to me like Chinese food crawling around on a plate. Cauliflower almost makes me sick. I eat carrots reluctantly. I don't like sweet potatoes. I don't even want to be close to a rhubarb, it makes me retch. My idea of a vegetable is green beans, corn, and peas. I like spaghetti and grilled cheese sandwiches. I'll eat meat loaf but wouldn't order it in a restaurant."*

His idea of a feast was a half gallon of chocolate chip ice cream. He ate his foods in sequence, one at a time, and did not like the individual foods to touch. If a stalk of broccoli brushed his steak, he recoiled in horror. *"I like eating the same thing over and over and over again. I could eat a ham sandwich every day for fifty days in a row for breakfast. At dinner at her farm retreat, Glen Welby, Kay served lobster. I was attacking the shellfish through the wrong side, attacking the shell, and not having much luck. She told me to turn it over."* Confronted with a nine-course dinner—each course accompanied by the appropriate wines and destined for a dinner table filled with dignitaries and celebrities and journalism's star reporters—"it threw him," says Gladys Kaiser. He never grew accustomed to life on this grand scale.

Yet Buffett became a regular guest at Graham's famous dinners, which he called her "Kay Parties." He enjoyed his status as the hayseed who was flummoxed by a lobster. His childlike tastes conveyed an air of authenticity and innocence. But his social naiveté was also genuine—mostly because he went around with blinders on. When "sightseeing" with Graham, he was focused like a laser on who was there, not on which fork to use. He had no desire to broaden this aspect of his horizons. Graham upgraded his elephant-bumping skills gradually but was amazed that Buffett continued to eat nothing but hamburgers and ice cream.[21]

"She always talked to the cook in French, always, totally in French. So I would hear 'hamburger' among the French words and tease her and say, 'No, no, it's hambur-zhay.' Then I would just say, 'Order me a hambur-zhay,' and it would come out of the kitchen very fancy. The chef at Kay's wanted so much to be able to make hamburgers and french fries—and I ate them, but they were not even close to as good as you could get at McDonald's or Wendy's. The french fries were always mushy. And he wanted so hard to please.

"But at her big parties, she didn't make exceptions for me as much."

At the Kay Parties, Buffett's role was not to eat but, of course, to talk. As a star investor, he was like a bald eagle in a town where birds of any kind were scarce. Even the most hidebound of Georgetown "cave dwellers"—blue bloods who rarely emerged to socialize with anyone except others of their kind, many of whom were Graham's friends, such as the columnists Joe and Stewart Alsop, cousins of Eleanor Roosevelt

—enjoyed having the charming Buffett around. Dinner guests pelted him with questions about investments, and he fell into his most comfortable role: the teacher.

By now he was spending so much time in Washington that he began keeping a spare set of clothes in Graham's guest room, just as he once had with the more maternal Anne Gottschaldt in Long Island. Usually he wore a fraying blue suede jacket and gray flannel slacks that looked like a rumpled bedspread.[22] Graham tried to improve his sartorial sense. "She was appalled by Warren's clothes," according to her son Don, "although my mother just hated the way that I dressed. And at one point she said, referring to her employees, 'Why am I of all people surrounded by the worst-dressed executive staff of anyone in America?' Her scorn for people's clothes was widespread, and not confined to Warren."[23] She took him to meet Halston, the tony designer whom she preferred and who had made over her own sense of style. Buffett's take on Halston: *"He was from Des Moines, you know."*

* * *

By June 1976, Buffett had occasion to invite Graham to an event of his own: Susie Jr.'s wedding. In every way this event would be the antithesis of a Kay Party—held in Newport Beach, California, a mix of the formal and the casual, with a Buffettish zoo of a guest list, to celebrate a marriage that everybody knew was a mistake from the start.

The spring semester of her senior year of college, Susie Jr. had dropped out of UC Irvine when her roommate learned that Century 21, a real estate company, was offering high-paying secretarial jobs that didn't require typing skills.[24] Though they were wise enough not to interfere, both her parents knew that Susie Jr.'s marriage to Dennis Westergard, the good-looking blond surfer, wasn't going to work out. On some level, Susie Jr. herself knew this, but she was caught up in the fantasy.[25] Parental reservation notwithstanding, her wedding was an important affair. Warren had asked that Kay be invited; Big Susie had reserved a special place for her at St. John's Lutheran Church, right behind the family. For a few minutes she sat with Dick and Mary Holland, who had escorted her to the service. Then, not surprisingly, Kay said to them, "I feel uncomfortable. I don't know why, but it'd be better if I sat in back." She removed herself to the rear of the church, where she sat for the rest of the wedding.[26]

Buffett had traveled far from the day of his own wedding, when he had to take off his glasses because he was so nervous that he didn't want to see. Waiting in the rear of the church to go down the aisle, he said to his anxious daughter, "Don't look now, but my fly is open." The photographer was standing in front of the altar, waiting to snap a picture. Susie Jr. was so busy trying to stifle her laughter and to keep from looking at her father's fly so that the photographer would not capture her staring at his crotch that she forgot to be scared.[27]

The rest of the traditional ceremony proceeded without incident. Then the reception at the Newport Beach Marriott turned wild. The Buffetts had let their music-groupie daughter hire any band she liked. Susie Jr. chose her favorite, Quicksilver Messenger Service, a psychedelic rock band that had been among the groups launched at San Francisco's Fillmore Auditorium in the 1960s. Its members looked like any normal rock band. As the group of twenty-something men with white-boy afros and nipple-length uncombed hair mounted the stage and tuned up their instruments, Buffett looked on with inner horror. When Quicksilver Messenger Service hit it with the drums and electric guitars, Susie Jr. danced in ecstasy at her rock-and-roll wedding while her father managed to keep his composure, even though he was squirming inside. *"I was not wild about their music,"* he says in an understatement. *"They played awfully loud."* He longed for something like his wife's sweet Doris Day style of singing, or Florence Henderson or Sammy Davis Jr. After ninety minutes, the musicians flabbergasted him again when they stopped playing and put away their instruments. Then their manager compounded his astonishment by asking Buffett to fork over the staggering sum of $4,000—in cash.[28] Big Susie had told her daughter, "You know, Susan, you can't go home with the band on your wedding night." "Darn!" said Susie Jr. But "some of my friends did," she says.

Now Susie Jr. had settled permanently in Los Angeles, working for Century21. Howie had already dropped

out of Augustana College after having trouble adjusting and connecting with his roommate. He tried a couple of other schools, but had lost his support system and never graduated. "I was so close to my mom," he says, "and everything in my life revolved around our family and our home. In college I just could not get any traction."[29] Neither had their father's ambition, but both had money for the first time. The trust left by Howard to his grandchildren had distributed a little over six hundred shares of Berkshire Hathaway stock to them. Warren gave them no advice on what to do with it. He had never sold a share himself; why would they sell theirs? Susie Jr. sold most of hers to buy a Porsche and a condo. Howie sold some of his to start Buffett Excavating. In a grown-up version of his childhood love of Tonka Toys, he was now digging basements for a living.

Peter, just finishing his senior year in high school, had been accepted at Stanford and would be headed to California in the fall. More and more during the summer of 1976, the house in Omaha was simply empty. Most days after school Peter went to Arby's by himself to get something for dinner, then headed to the darkroom to work on his photography. Even the dog was decamping. Peter's friends had started calling to report "Hamilton's over here."[30]

Big Susie, who was rarely home these days, admitted to feeling depressed about the state of her marriage. She seemed to feel that Kay was an interloper who was pursuing her husband;[31] Kay had such a territorial way with men that it would have been surprising if Susie had felt otherwise. Yet despite—or perhaps because of—her sadness, Susie herself was "running around like a teenager," as one person put it, in the hot rush of a midlife romance. She was angry at Warren and got careless, letting herself be seen around Omaha with John McCabe, her tennis coach. She still called Milt from time to time as well, and when he agreed to see her they, too, were spotted out in public. She seemed to be living in different worlds, with no plan to proceed in any direction. She could not conceive of abandoning Warren. She described him as an "extraordinary man."[32] She clearly looked up to him; however much she joked and nagged about his rigidity and his preoccupation with money, he gave her things she very much wanted: security, stability, strength. "It mattered to her that he was honest and had a good value system," says Doris. "If I ever let down someone who needed me," Susie said, that would be the biggest failure she could imagine.[33] Susie was not a thinker. She had a natural confidence in her ability to manage complex relationships with multiple people, using her emotions as her guide. But somebody would have to be let down eventually.

* * *

While Susie was off on her various unknown pursuits, and his three children were headed in their respective directions—Peter taking off for Palo Alto in his little yellow Triumph convertible; Howie driving a backhoe, gorilla costume in tow; and Susie Jr. embarking on married life with her good-looking surfer—Warren was on a journey of his own. The man of simple tastes who thought of his life as something out of *Leave It to Beaver* was now spending his time at parties on Embassy Row. Katharine Graham was dragging him into elephant territory as fast as she could.

"She didn't change my behavior as much as changing what I knew and saw. Everywhere she went, she was treated just like royalty. I saw a whole lot of interesting things that I wouldn't have seen in the world. I had a lot of things explained to me. I picked up a lot around her. Kay knew so damned much about everybody that she would give me insights on people in the political arena.

"It bothered her that she thought I was teaching her all these things and she wasn't doing anything for me. She was constantly laboring in terms of trying to think of something she could do to help me out, whether it was inviting me to fancy dinners or something else. You could call all these events glamorous or exotic. I found them quite interesting. I'm not knocking these things. There were probably people who were way more dying to do them, particularly in her presence, than I would be. But I had a good time doing it, you know."

There undoubtedly were people who were "way more dying" to go. Nevertheless, Buffett did go, over and

over again, no matter how ridiculous or awkward for him the events turned out to be.

One night Graham took him to a black-tie state dinner at the Iranian Embassy. She wore a golden gown to match the embassy's decor. Reza Pahlavi, the Shah of Iran, was an important U.S. strategic ally and a charming host. His embassy sat at the apex of the Embassy Row Washington social scene, and its doings glittered with a fin de siècle magnificence.

After the cocktail hour, Buffett sat down at his assigned table and found himself between one of Empress Farah Pahlavi's ladies-in-waiting and Illinois Senator Charles Percy's wife. He turned toward Loraine Percy and found her locked in a tête-à-tête with her other dinner partner, Paul Newman. Seeing that it might be a while before she turned toward him, Buffett revolved toward his right and said something to the empress's lady-in-waiting. She smiled politely. He said something else. She smiled again, then went blank. Ted Kennedy, seated on her other side, leaned over and uttered some *bon mot* in French. Her face brightened and they began conversing animatedly in French. Buffett sat stranded in the middle. He turned back to Loraine Percy and found that she was still engrossed in Paul Newman. He realized with a dull feeling that with Paul Newman sitting on her left, it might become a very long evening.

Kay had been seated next to the Shah, at another table. Among these circles, she was the most important and Warren the least important guest there. Kay was the queen and he was some hayseed investor from Nebraska whom Kay had towed along. Forget *Supermoney;* this was old money. After a while, Ted Kennedy noticed his plight and asked, "Don't you speak *any* French?" Buffett felt like a poseur. He had landed in Bora-Bora with only a snowsuit to wear. The meal went on until one o'clock in the morning, and then the band began to play. To begin the dancing, one of the gentlemen waltzed the empress around the floor. Buffett grabbed Graham's hand and escaped.

And yet, if she had asked him again, he would have gone. Because he was for sure not knocking it. The sightseeing was too good.

As he knew all too well by now, despite the fame from *Supermoney* and the articles in *Forbes,* many prominent people had never heard of him. In May 1976, Buffett was visiting Kay Graham in Washington when she said, I have someone I want you to meet. Jack Byrne, the person in question, was reluctant, however. When Graham called to arrange a meeting, he said, "Who's Buffett?"

"Well, he's a friend of mine," Graham said. "He's just bought a piece of the *Washington Post.*" Neither knowing nor caring, Byrne turned down the meeting. Then Buffett's old friend Lorimer "Davy" Davidson, who had retired from GEICO in 1970, called Byrne. "God, what kind of ninny are you to pass up a meeting with Warren Buffett?" he asked.[34]

* * *

Byrne had been hired in 1976 to try to pull GEICO—on the brink of bankruptcy—out of the ditch. Once an insurer only of government employees, GEICO had taken on John Q. Public. "Millions more qualified" was the tagline. "Growth, growth, growth, the emphasis was all growth," says a longtime executive.[35] Fueled by growth, growth, growth, GEICO stock had traded as high as $61—far too rich for Buffett, but he had kept an eye on it anyway. In fact, he had never stopped following it for the past twenty years.

In 1975, *"I looked again at GEICO and was startled by what I saw after a few rule-of-thumb calculations about loss reserves."* As an auto-insurance company grows, grows, grows, so does the number of accidents its customers have. If a company underestimates the payments for those claims, it has overstated profits by the same amount. *"It was clear in a sixty-second examination that the company was far underreserved and the situation was getting worse. I went in to see [the CEO] Norm Gidden on one of my Washington Post trips. I had known and liked Norm for twenty years on a casual basis. He was friendly, but he had no interest at all in listening to my comments. They were in deep denial. He really sort of hustled me out of the office and would not respond on the subject."*[36]

That Buffett, who did not own the stock, was trying to help GEICO's management says something about how attached he still was to the company from which Lorimer Davidson had recently retired, the stock that had been his first really big idea, the investment that had made so much money for his friends and family.

In early 1976, GEICO announced its worst year in history, a $190 million loss from underwriting operations during 1975.[37] The company stopped paying dividends, a move that conveys to shareholders that the till is empty. Gidden cast about frantically to bolster the mere $25 million in capital that GEICO had in its coffers.[38] That April, at Washington's Statler Hilton, four hundred angry stockholders stormed the shareholder meeting, armed with questions and accusations. Shortly afterward, the insurance commissioners arrived in a squadron at GEICO's offices. The board realized, a bit belatedly, that it had to fire the management.[39] The board itself was in disarray, several of its members having lost their personal fortunes in the debacle. Without a capable CEO to steer the company, Sam Butler, a steady-handed lawyer from Cravath, Swaine & Moore, took charge as the lead board member—in effect, a temporary CEO.

Butler knew that Byrne had quit Travelers on impulse, bitter at having just been passed over for the job of CEO. A former actuary who became a millionaire at age twenty-nine through a start-up insurance company, Byrne had been instrumental in turning around the Travelers' flailing home-and auto-insurance lines two years earlier. Butler called him in Hartford and played on his ego, explaining that if he took the job at GEICO it would prevent a national emergency that would throw the whole United States economy into jeopardy. The unemployed Byrne was easily recruited to audition for CEO.[40] He came down to Washington in early May and pogo-sticked back and forth before the board, tearing through white flip-chart pages, covering them with marker pen while talking nonstop. "I came in and gave a sort of off-the-cuff five-hour blah, blah, blah, here's five points, here's what we have to do, boom boom boom speech,"[41] he says. The desperate board had no trouble deciding that this ruddy, round-faced cannonball was the right guy.

Byrne's first task when he took over as CEO was to run straight to the dusty Chinatown offices of the District of Columbia's Insurance Superintendent Max Wallach. An old-school German who spoke with a thick accent, Wallach was "stubborn as hell, and he had this enormous interest in serving the public," Byrne recalls. He was disgusted with GEICO's former management and had refused to deal with them. Byrne perceived that Wallach was not wild about him either. Nevertheless, the two men began talking daily, sometimes hourly.[42] Wallach insisted that the company put a deal in place by late June to raise money while simultaneously getting other insurance companies to take over some of its policies—that is, to "reinsure" GEICO.[43] The idea was to increase the resources GEICO had available to pay claims and to cut the risk it was carrying so that they were more in balance. Thus, Byrne had to sell other insurers on the idea of putting up money to save a competitor.

Byrne's prior experience was that he could sell anything. At first he was confident.

"My pitch was that insurance companies take care of themselves," says Byrne. "We don't want the regulators involved." If GEICO failed, the regulators would just send the bill for GEICO's unpaid claims to its competitors. So they would end up bailing it out anyway. But "Ed Rust, Senior, who ran State Farm," says Byrne, "he was a cooney old bastard. He concluded—and he was probably pretty smart—'I'll pay a hundred million to cover any of their unpaid claims if it puts GEICO out of business. They have a better mousetrap, and killing GEICO will save us money in the long run.'" So State Farm backed out of the reinsurance deal.

"In the end," says Byrne, "a couple of really good friends reneged. The Travelers just said, 'We're not going to help.' They didn't have any principled idea behind this. Travelers was just wussy about it."

Three weeks after he joined GEICO, "I was racing around, thinking I had made the biggest mistake of my life. My wife, Dorothy, was up in Hartford, crying and crying and crying. We had just moved for the nineteenth time." The market was suggesting GEICO might not survive; its stock, so recently trading for $61 a share, had crashed to $2 a share. Somebody who owned, say, twenty-five thousand shares, had just seen their fortune dwindle by almost ninety-seven percent—from more than $1.5 million to $50,000—from

enough to live on for the rest of your life to enough to buy a very good sports car.

The reaction of the company's investors and shareholders to the calamity would, in not a few cases, literally determine their fate.

Many longtime shareholders had panicked and talked themselves into selling, which is how the stock got to $2 in the first place. Whoever was buying from them took a gamble on GEICO's fate.

Ben Graham, now age eighty-two, did nothing and kept his stock. Graham's cousin Rhoda and her husband, Bernie Sarnat, talked to the dean of the University of Chicago business school. He told them to sell it, since stocks that cheap rarely recover. They decided—au contraire—that a stock that had sunk so low was too cheap to sell. What would they gain by selling? They had little to lose by keeping it. So they did nothing.[44] Likewise, Lorimer Davidson never sold a share.[45]

Leo Goodwin Jr., the son of GEICO's founder, sold and destituted himself. Shortly thereafter, his son, Leo Goodwin III, died of a drug overdose, a presumed suicide.[46]

Buffett did not own the stock, but with GEICO trading at $2 a share, he had sniffed out another situation like American Express. Here, however, the company didn't have a franchise strong enough to pull it out of the ditch. GEICO needed a tow truck. Buffett felt that only a brilliant, energetic manager had any chance of turning the situation around. He wanted to meet Byrne and size him up before committing any money to the stock. He had Katharine Graham call Byrne; after overcoming Byrne's initial resistance, she set up the meeting.

* * *

Buffett waited at Graham's Georgetown house after a *Post* board dinner for Byrne to arrive. "This is risky," he told Don Graham. "It could go completely out of business. But in insurance it's very hard to get an edge, and they have an edge. If they got the right person in to run it, I think he could turn it around."[47]

In came Byrne, red-faced, effervescent, forty-three years old, like a firecracker exploding. The two men sat down by the fireplace in Graham's high-ceilinged library. Buffett questioned Byrne for a couple of hours. Of all the Irish-Americans who would ever swing through Buffett's orbit, Byrne had the greatest gift of blarney, and *"by a wide margin,"* Buffett says. "I was excited and babbling on and on and on," says Byrne. "Warren asked a lot of questions about how I thought we were going to stay out of insolvency and what my plans would be after that."

For Buffett, *"the question was whether Byrne really was cool, unflappable, and professional, or whether he just didn't know what was going on."*[48] He decided that Byrne *"understood insurance very well and had the analytical abilities. And he was a leader and a promoter. GEICO needed an analytical leader to figure out how to solve its problem and it needed a promoter to make that sale to all the constituencies that were involved."*[49]

The next morning, Buffett met up with George Gillespie, the lawyer who had sold him the *Post* stock, because the two men were on the board of Pinkerton's, the detective company, and there was a board meeting that day.[50] "George," he said, "it's pretty uncharacteristic of me, but today I bought some stock that really might be worthless tomorrow." He had just called Bill Scott back in the office and placed an order for half a million shares of GEICO for Berkshire, leaving another order to buy millions more as stock became available. Scott put together a huge block trade, buying $4 million worth of GEICO for him.[51]

Buffett had waited years for the chance to buy GEICO at the right price. The tow truck had arrived, but GEICO still did not have reinsurance, it needed capital, and both depended on the goodwill of Max Wallach,

the regulator.[52] But now a new phenomenon took hold. Buffett's margin of safety was his mere presence as an investor. Having Buffett as a backer—a now-legendary investor whose company already owned a successful insurer—gave Byrne a powerful card to play with the regulators.[53] In addition, "General McDermott, the head of USAA, wrote a letter" to other insurers, says Byrne. The United States Automobile Association sold insurance only to military officers and behaved accordingly. Within the insurance industry, it was fabled, General Robert McDermott almost revered. He supposedly wrote that "in the military we never leave people behind; we have a fallen eagle here."[54]

Buffett went to see Wallach to do what he could to convince the crusty old public servant to ease up on the June deadline. But assembling the reinsurance deal was like convincing two dozen shivering children to hold hands and jump into a lake.[55] To pull it off, the story Byrne was selling was that the worthless former management, befoulers of GEICO, had been tossed out; that what was left of the termite-riddled house was now clean; that the seasoned Jack Byrne, rescuer of Travelers, had helicoptered in to restore the damage; and so confident was the infallible Warren Buffett in Jack Byrne that he had plunked down a whopping $4 million on the stock.

Nonetheless, when Byrne started hitting the banks on Wall Street, "people were walking out in the middle of lunch," he says. "I got kicked out of everywhere." Then Sam Butler took him down to Salomon Inc. An old, respected specialist bond house, Salomon had never done an equity deal but craved to enter the lucrative business of underwriting stocks. John Gutfreund, an influential Salomon executive, sent a junior research analyst, Michael Frinquelli, and his sidekick, Joe Barone, to Washington to check GEICO out. "I kept them waiting for an hour and a half, so they were furious," says Byrne. "But I talked till the sun came up. And they were very blank-faced, but on the way to the airport, the company driver heard them talking, and he told me they were very, very enthused on the way back."[56]

"The insurance industry can't afford to let these guys go down," Frinquelli told Gutfreund. "It would be a terrible black eye on the industry, and these assholes will not tolerate that."[57] But when Byrne and Butler arrived at Salomon's offices for his last-ditch attempt to raise the money, Gutfreund opened with a bruising remark: "I don't know who'd ever buy that fucking reinsurance treaty you're trying to sell."

"You don't know any fucking thing you're talking about," said Byrne right back.[58]

Displays of testosterone out of the way, Byrne made a passionate speech, citing "God and the national interest" among reasons why Salomon should raise the money, and referring to Buffett's investment. As Byrne waxed about GEICO's prospects and approached liftoff, Gutfreund fiddled with a long, expensive cigar. Finally, wrung out and crestfallen, Byrne ground to a halt. Then Butler said his piece. Byrne thought, from Gutfreund's demeanor, that they had failed. Then Gutfreund pointed at Byrne and said to Butler, "I will do this underwriting. I feel you've got the right guy, but you've got to keep him quiet."[59]

Salomon agreed to underwrite a $76 million convertible stock offering by itself. No other investment bank would participate and share the risk. GEICO had to consent to an SEC decree in which it neither admitted nor denied the SEC's conclusion that it had failed to disclose its losses to the shareholders—the mere description of which in a public offering prospectus would tend to poison the deal.[60] To get the financing done, Salomon had to convince investors that GEICO would survive, yet the financing was what would enable GEICO to survive. The deal reeked of desperation, and investors could smell it. GEICO was getting such bad press, Byrne said, that if he had walked across the Potomac River, the headlines would have screamed, "Byrne Can't Swim."[61]

Buffett, the ace in the hole, was unperturbed by these events. When the offering looked as if it was not going to go off, he simply went to New York and met with Gutfreund, saying he stood ready to buy the whole deal—at a price. Having a backup buyer strengthened Salomon's hand, but Gutfreund also got the impression that Buffett wouldn't mind if the deal failed and he ended up buying all the stock.[62] For Buffett, this was the ultimate no-risk deal. Naturally, the backup price he insisted on was low. Salomon told Byrne unequivocally

that, given Buffett's ceiling, the convertible offering would sell no higher than $9.20 per share, not $10.50 as Byrne wanted.

Buffett wanted as much of the stock as could be had. He asked Salomon to buy all that was available for him once the stock started trading. Buffett's willingness to buy after the offering bolstered Salomon's ability to market the deal. Otherwise, Salomon would have had to jam the stock down its customers' throats.

Indeed, once the self-fulfilling prophecy of the sage of Omaha took hold, there was more demand for the stock than shares to be had.[63] Buffett got only a quarter of the deal. Within a few weeks, after a total of twenty-seven reinsurers came forward to provide the required reinsurance, the common stock had quadrupled and was trading around $8 a share. And GEICO's savior, John Gutfreund, became one of a tiny handful of modern Wall Street figures whom Buffett genuinely admired.

But GEICO was still not fixed. Byrne needed a thirty-five percent rate increase in New York—and speedily got it.[64] In New Jersey, Byrne went to the decaying old capitol of Trenton to plead with Commissioner James Sheeran, a handsome ex-Marine who prided himself on being tough. Byrne marched into the commissioner's office with a copy of the company's license in his pocket and told Sheeran that GEICO must have a rate increase.

"He had a sour-ass, little wizened actuary at his side who had been fired by some insurance company and had a bone to pick," says Byrne. Sheeran said his numbers didn't justify a rate increase. "I did all the arm-waving and stuff that I could, and Mr. Sheeran was intractable." Byrne pulled the license out of his pocket and threw it on Sheeran's desk, saying, "I have no choice but to turn in the license," or something to that effect but containing more four-letter words.[65] He then drove back to the office with tires screeching, sent out telegrams to thirty thousand policyholders canceling their insurance, and fired two thousand New Jersey employees in a single afternoon, before Sheeran could go to court and get an injunction to stop him.[66]

"It showed everybody, all audiences, I was serious about this," recalls Byrne. "And that I was going to fight for the life of this company no matter what, including walking out of a state, which wasn't done back then." Byrne's impalement of New Jersey had exactly that effect. Everybody knew he was serious.

"It was like he had trained all his life for that position. It was like he'd been genetically designed for that particular period of time. If you'd searched the country, you could not have found a better battlefield commander. He had to assemble a team of people, he had to chop thousands of heads, and he had to change the thinking of those heads that stayed around. It was a Herculean job. Nobody could have done it better than Jack. He was a tough, disciplined thinker about pricing and reserves and he demanded rational business principles and actions. Everybody knew exactly what GEICO was all about, and he worked extraordinary hours focused on a single objective. He was always interested in what made sense rather than what had been done in the past."

Byrne walked through GEICO's door each morning, sailed his hat fifty feet up to the upper floor of the atrium, and hollered hello to the secretaries.[67] "If I don't whistle by the graveyard, who is going to?" he asked. "If I don't dance, who's going to dance?" He had a way of making people feel *tah*-riffic about the place where they went to work every morning, despite the career-threatening status of their employer. He chopped forty percent of the company's customers, sold half of its profitable life-insurance affiliate to raise cash, and withdrew from all but seven states plus the District of Columbia. Byrne seemed to run on rocket fuel. He called his executives into meetings at the Sheraton and Westin hotels near Dulles Airport and questioned them for fifteen hours at a stretch, sometimes for days at a time.[68] He interrupted GEICO's human-resources manager at the podium during a meeting by saying, "You're out," and named his successor from the audience that very moment. His attitude was: "You're not running a public library here, you're trying to save a company."[69]

"Jack was unmerciful on me," says Tony Nicely, who had worked for GEICO since he was eighteen years old. "He liked picking on young, aggressive people. But he taught me a lot and I will always be indebted to

him. He taught me to think of the business as a whole, not separate functions like underwriting or investing. I learned the importance of a disciplined balance sheet."

Byrne told his workers if they couldn't meet a certain sales figure, they would have to hoist his 240 pounds on their shoulders into a sedan chair like a Roman emperor and bear him into company meetings for a year.[70] They made the numbers. Wearing a huge chef's hat and a giant shamrock, "I cooked Irish dinners for them," he says. "Colcannon, which is turnips and potatoes and sour milk. It tastes terrible. I'd have these big kettles, and I'd pound these turnips, saying, 'Oh, this is going to be wonderful!'"

Buffett grabbed Byrne and his wife, Dorothy, and immediately pulled them into his circle of friends. Now, between GEICO, *Washington Post* meetings, Pinkerton's board meetings, West Coast trips for Blue Chip and Wesco, business trips to New York, board meetings for Munsingwear, a board that he had joined in 1974, and Kay Parties, he was traveling much of the time. Buffett decided that he needed help in the office. Pushed by Big Susie, one of her tennis friends approached Warren about a job as a sort of general apprentice. Dan Grossman, a bright Yale graduate with a Stanford business degree, even offered to work for free. Buffett didn't take him up on that, but latched on to Grossman with his usual intensity. Some thought that since neither of his sons wanted to work in the business, he saw in Grossman the chance at a surrogate son, someone who could potentially succeed him.

Buffett remodeled the office in order to install Grossman next door to himself. Gladys ran interference while Buffett spent hour after hour with him, explaining float, reviewing financial models of insurance companies, outlining regulatory filings, telling Grossman his stories, and leafing through the old *Moody's Manuals.* He played hours of tennis and handball with Grossman and added him to the Graham Group, where Grossman became friendly with many people.[71] Warren had found yet another object of obsession.

41

And Then What?

Omaha • 1977

Susie's friends would say that she created a separate life for herself within her marriage as a way to accommodate Warren's obsessions. As one put it, Warren's "real marriage was to Berkshire Hathaway." There was no getting around that fact. However uneasily, however, their routine had worked for them. At least, that is, it worked for them until another of Buffett's obsessions—with Katharine Graham—reached the point that it began to push Susie offstage. That was when she finally took action.

Warren now spent much of his time elephant-bumping at black-tie events in New York and Washington with Graham, or staying at her house for her Kay Parties. Despite his residual awkwardness and cackling laugh, he was meeting a circle of powerful, celebrated friends and acquaintances of Kay's that opened his eyes to a new world. *"I met Truman Capote,"* he says about the author of *Breakfast at Tiffany's* and *In Cold Blood,* who had thrown the legendary Black and White Ball in Graham's honor at the Plaza Hotel in New York; the event became known as the "party of the century." Capote had been a confidant of many rich international society women.

"He would come down to her place and sit there, this little guy all kind of hunched down on the sofa, talking in this voice you couldn't believe. But he knew all the secrets of all of them. He really did know them, because they all talked to him. He was terribly canny. The one person he really liked was Kay. Unlike the rest, he just didn't feel she was a phony, I think."

Buffett had even been summoned by former British ambassador Walter Annenberg, who owned Triangle

Publications, which held, among other lucrative properties, the *Philadelphia Inquirer* and Buffett's childhood favorite, the *Daily Racing Form.*

"Walter read about me in the Wall Street Journal in 1977. I got this letter that read, 'Dear Mr. Buffett,' and he invited me to Sunnylands," his California estate. Having heard stories about the famously thin-skinned ambassador from Tom Murphy as well as from Kay Graham, who had reason to know about how easily offended he was, Buffett was intrigued. Annenberg's father featured in many of the stories. Besides the publishing interests that he had bequeathed to his son, Moe Annenberg had also left him a legacy of scandal and shame, having gone to prison for tax evasion in connection with a racing wire he ran that telegraphed horse-race results to bookies all over the country. Of dubious legality, it was linked to organized crime, and added to his reputation for having mobster connections. Reportedly to save his son from prosecution along with him, Moe Annenberg copped a plea and was led into jail wearing a homburg hat and chains. Walter was later to say that his gaunt, pain-racked father, dying of a brain tumor in St. Mary's Hospital, whispered as his last few words, "My suffering is all for the purpose of making a man out of you."[1] Whether this scene was real or imagined, Walter would later act as though he believed it.

Consumed by a drive to redeem his family's honor, Walter was now responsible for the support of his mother and his sisters. He learned the publishing business through trial by fire and proved a gifted entrepreneur. He dreamed up *Seventeen* magazine, then a booklet-size magazine called *TV Guide,* a brilliant conception that fed the public's appetite for information about television schedules, shows, and stars. By the time he met Buffett, he had not only become a great business success story but had reached the pinnacle of social respectability after Richard Nixon appointed him ambassador to England's Court of St. James's. Yet even though he restored the family name, he never overcame the personal scars of his legacy.

Buffett arrived at Sunnylands filled with curiosity to meet Annenberg. The two already had a connection; Annenberg was the brother of Aye Simon, the "spoiled, spoiled" widow of Ben Rosner's former partner Leo Simon—the same Aye Simon whom Rosner had decided to screw when he had sold Associated Retailing to Buffett too cheap, because she was no longer his partner. On the one occasion that Buffett had met her, Aye Simon had entertained him in her vast art-filled apartment in New York City. Maids tiptoed back and forth carrying silver trays of cucumber sandwiches; Aye explained to Buffett that her "Pop," Moe Annenberg, once had his goons, known as "the boys," "take a few shots at Leo" to improve his attitude toward Moe. You can still see the bullet holes on a building on a certain corner of Michigan Avenue in Chicago, she told Buffett. Aye then asked for her son to join the Buffett partnership. Warren, "envisioning bullets" if he turned in a year of bad results, had "tap-danced" his way out of the situation.

Her brother, Walter, had spent decades establishing a reputation for propriety about as different from the image of bullets on Michigan Avenue as you could get. Sunnylands was a vast, opulent oasis in the desert in Rancho Mirage, California. Amid a garden filled with the images of Mayan sun gods, Rodin's bronze sculpture of Eve stood in a reflecting pool, covering her face in shame. Hundreds of floating bromeliads gazed up at her from the water beneath her feet. At Sunnylands, Annenberg had entertained Prince Charles, hosted Frank Sinatra's fourth wedding, and given his friend Richard Nixon peace and quiet to write his last State of the Union address.

"He had a courtly way about him and was very formal. We went outside in back by the pool, and Walter sat down. He was beautifully dressed and looked as though everything he was wearing had been bought that morning. He was about seventy at the time, and I was about forty-seven. And he said, in a nice, kind manner, as if he were talking to a young man he was trying to help, 'Mr. Buffett, the first thing you should understand is, nobody likes to be criticized.' That was setting the ground rules for getting along."

Nothing could be easier for Buffett. *"I said, 'Yes, Mr. Ambassador. I've got it. Don't worry about that one.'*

"And then he started in on 'Essentiality.'

"'There are three properties in the world,' he said, 'that have the quality of 'Essentiality.' They are the Daily Racing Form, the TV Guide, and the Wall Street Journal. And I own two out of three.'

"What he meant by 'Essentiality' was that, even during the Depression, he saw the Racing Form being sold for two and a half bucks down in Cuba."

The *Racing Form* had that quality because there was no source of better or more complete information about handicapping horses.

"It sold a hundred fifty thousand copies a day, and it had for about fifty years. It cost more than two bucks, and it was essential. If you were headed to the racetrack and were a serious racing handicapper, you wanted the Racing Form. He could charge whatever he wanted, and people were going to pay it. It's like selling needles to addicts, basically.

"So every year, Walter would go in and say, 'Mirror, mirror, on the wall, how much should I raise the price of the Racing Form this fall?'

"And the mirror would always say, 'Walter, charge another quarter!'"

This was when you could buy the entire *New York Times* or *Washington Post* for a quarter. And yet, thought Buffett, the *New York Times* and the *Washington Post* were great businesses! That meant the *Daily Racing Form* was an *incredible* business.

Annenberg enjoyed owning two of the Essentialities, but he wanted to own all three. The visit to Sunnylands was the beginning of a reel that he and Buffett would dance from time to time: talking about whether and how they could buy the *Wall Street Journal* together.

But *"the real reason that he had me out there was to send a message to Kay."*

The Annenbergs and the Grahams had once been friends.[2] Then, in 1969, during the confirmation hearing for Annenberg's appointment as ambassador to Great Britain, the *Post*'s muckraking columnist, Drew Pearson, penned a column saying that Annenberg's fortune "was built up by gang warfare" and repeated an unsubstantiated rumor that his father had paid $1 million a year in protection money to mob boss Al Capone.[3] Annenberg, enraged, accused Graham of using her paper as a political weapon against President Nixon, the man who had restored the Annenberg family to respectability by taking the risk of nominating him for the ambassadorship. "President Nixon may have had his flaws," Annenberg said later, "but he paid me the *highest* honor that anyone ever paid the family."[4]

The morning of his confirmation hearing, Annenberg read another Pearson column that described at length his editorial vindictiveness at the *Philadelphia Inquirer*. He clutched his chest and his face turned purple. His wife thought he was having a heart attack.[5]

Annenberg called Graham to ask for a retraction. She tried to soothe his feelings, but said she never interfered with the editorial page.

That evening, after a stressful day of hearings in which Walter had had to defend himself one by one against the points made in the Pearson columns, the Annenbergs reluctantly went to Graham's Georgetown mansion to attend a dinner party for fifty guests to which they had been invited many weeks before. Upon entering the gilded splendor of Graham's drawing room, Annenberg—who cared deeply about protocol and who was well primed to take offense that night—did indeed take offense when Graham seated someone else next to herself and seated him between two of her friends, Evangeline Bruce, wife of the outgoing British ambassador David Bruce, and Lorraine Cooper, the wife of a prominent senator.

Annenberg's prickliness about anything he took as a slight resembled in many ways his friend Nixon's lack of perspective. He and Nixon also shared an unfortunate inability to charm and disarm.[6] Thus, a feud that had been brewing between Mrs. Annenberg and Vangie Bruce over the decoration of the ambassadorial residence soon escalated and overshadowed the meal.[7] Compounding this, Mrs. Cooper offended Annenberg by

supposedly implying that he wasn't rich enough to be ambassador.[8] Feeling that he had been set up, Annenberg stalked out of the party early and stopped speaking to Kay Graham.

"Kay was distraught about it. She wanted enormously to get along with Walter. Kay was not looking to have fights with anybody. That was not her style. She liked being in charge, but she did not like to show off. She liked big shots, and she liked big-shot guys, particularly. So it was not comfortable for her to be in a fight with him. But she also wanted Walter to understand that she wasn't going to tell Ben Bradlee what to write about in the paper.

"So by the time I went out to see him, he was thinking about having a book commissioned about Phil Graham, and how Phil's teeth were in a funny way."

Phil Graham's teeth.

"Walter had a theory that if you were gap-toothed, that was a sign of mental instability. And if Walter had a theory, you didn't argue with it. Walter liked me, but one reason that he liked me was that I never disagreed. If Walter said to me, black was white, I just wouldn't say anything.

"So I became the go-between with Kay." Annenberg expected Buffett to deliver the message that if he published the book about Phil Graham's teeth, well, that's show business.

"Meanwhile, he couldn't have been nicer to me. He put me in this super-fancy guest room. And he took me into his office, where he had a little display in a glass case of a Prussian coin, a pocketknife, and one other thing. It was all that his grandfather had in his pocket when he landed in this country from Prussia. And he said, 'Everything you see here is a product of that.' In a period of not that many years, Walter had rehabilitated his family. He did his father proud. And that was his number one goal in life, to do his father proud."

Buffett understood Annenberg psychologically yet never seemed to notice certain resemblances between the ambassador and himself. Probably this was because they were so different in other ways. Annenberg's humorlessness, his fondness for opulence and formality, and his enmity toward the Grahams set him strikingly apart from Buffett, and they were at opposite poles politically. Nonetheless, beneath their similarly paper-thin skins, these two shrewd businessmen shared a deep drive to prove themselves—both in business and in the social world—and a reverence for fathers whom they felt the world had treated unjustly.

They struck up a correspondence. Annenberg would come to think of himself, in an avuncular sort of way, as training Buffett in philanthropy. He thought rich people should give it all away before they died lest their appointed stewards dishonor their obligations.[9] He wanted to warn Buffett of the potential pitfalls. Mistrustful by nature and always testing people—again, like Buffett in both respects—Annenberg had made a close study of failed foundations and the perfidy of foundation trustees. He sent Buffett examples of foundations gone wrong after their benefactors had died, along with chitchat about stocks and courtly correspondence. Buffett—a budding philanthropist and a publisher whose paper had won a Pulitzer Prize for exposing the failed stewardship of a major charity—read this material with interest. Annenberg conveyed to him his dread of an imperial administrator for his money, one who would conduct what he referred to as "foundation rapings" after he was gone.

"Dear Warren," he wrote, thanking Buffett for sending an article about Mac Bundy, who ran the Ford Foundation in a way that Annenberg deemed abhorrent,[10] "Henry [Ford II] once described McGeorge Bundy as 'the most arrogant son of a bitch in the country, who developed the lifestyle of an Arabian prince on Ford Foundation money.'"[11]

Annenberg spent immense amounts of time scheming to avoid being double-crossed after he was dead. He told Buffett about the Donner Foundation, whose executive director had changed the name of the foundation to the Independence Fund, obliterating the founding donor.[12] "I respectfully suggest you make sure that no one can tamper with the name of your foundation after you're gone," he wrote. "Remember Mr. Donner."[13]

Buffett thought otherwise about the foundation he and Susie had set up. *"It should not have been named the Buffett Foundation,"* he said later. *"It was dumb to name it the Buffett Foundation. But it would also be dumb to change it now, because it would be too obvious."*[14]

He and Annenberg shared a fascination for media and publishing. *TV Guide* was Annenberg's greatest asset. It had the same "essentiality" as the *Daily Racing Form,* but a much bigger audience. Once Buffett got the idea that Annenberg was going to sell *TV Guide,* he and Tom Murphy flew out to Los Angeles to see if the imperious ambassador would sell it to them, fifty-fifty.

But Annenberg wanted to be paid in stock, not cash. "And we wouldn't give our stock away," says Murphy. "Warren never gave his stock away; neither did I if I could possibly avoid it. You don't get rich that way." Giving stock in exchange for *TV Guide* was saying, in a literal sense, that they thought it would earn more in the future than whatever share of Berkshire Buffett swapped for it. Paying with stock showed a sort of contempt for your own business versus whatever it was that you were buying—that is, unless you were paying with stock that had gotten wildly overpriced.[15] As a rule, the way they ran their businesses and dealt with their shareholders meant that didn't happen, so they didn't buy *TV Guide*.

Nevertheless, Buffett continued to work as the go-between for Annenberg and Graham, who had been taking Buffett to etiquette school and preparing him for these elevated doings. She called him constantly about the smallest details of her life. He visited her rambling shingle mansion on Martha's Vineyard overlooking Lambert's Cove, and they traveled together often to business meetings and went, on a lark, to Niagara Falls. He took her to see one of his totems, the Berkshire textile mills. As the flirtatious, fifty-nine-year-old Kay was spotted tossing the forty-six-year-old Warren her house key at charity benefits and the two were seen together ever more often in public, by early 1977 the gossip columns had taken note, and, as Graham put it, "eyebrows shot up."[16]

Friends observed, as one put it, that the pair had "zero chemistry." Yet Graham discussed an affair candidly with her friends.[17] She was obviously sexually insecure but tried to project the opposite, as illustrated in her memoir.[18] Her mother, notably, was famous for pursuing (and flaunting) obsessive, flirtatious, but platonic relationships with powerful, brilliant men. Buffett himself would go on to develop a history of romanticized friendships with women. Whatever genuinely romantic elements the relationship with Kay may have had initially, however, at the heart theirs was a friendship.

But publicity upset the delicate equilibrium between Susie and Warren. Whatever else was going on in her life, she still cared very much about her husband. Moreover, Susie needed the people in her life to need her, even to be dependent on her. Now she felt discounted and trivialized. Yet she would never allow herself to look like the spurned Daisy Mae in public. She continued to stay at Kay's house when she traveled to Washington and smiled benevolently no matter how often her husband was seen with Kay. Some of Susie's friends believed that she was, in fact, indifferent. Others felt that she needed to be in control or that Warren's relationship with Kay gave her cover to live her own separate life in peace. Nevertheless, she made it plain to several friends that she was furious and humiliated. Her way of dealing with the situation was to send Graham a letter granting her leave to pursue a relationship with Warren—as if Kay had been waiting for any such permission.[19] Kay showed the letter to people as though it let her off the hook.[20]

Susie was now working hard on a serious singing career. In 1976, she had approached the owners of Omaha's French Café, a formal restaurant located in a renovated warehouse in the quaint, cobblestoned Old Market district downtown, and suggested that she sing in their lounge, the Underground. They were astonished but gladly agreed. Susie had once hosted a benefit there for African relief—barefoot, in gingham, wearing a bandanna.[21] Ads went up verifying the rumors that Susan Buffett would become a chanteuse. "This is very scary, but I've always wanted to live to the hilt,"[22] she had told a reporter before her first performance.

She "lacked self-confidence," said a reviewer, but her "Ann-Margret youthfulness," "stylized jazz," and desire to please won over the crowd in the French Café's stone-lined basement cabaret. The audience was

described as being made up of "uncritical friends" and people who attended out of curiosity to see a rich man's wife.[23] Within weeks, Bill Ruane had said to her, "This is Broadway Bill. I've lined you up with auditions in New York." She did a three-week gig as an opening act at Yellow Brick Road, See Saw, Tramps, and The Ballroom. Afterward she said, "I've been asked back, but I'm going to be loose about the timing. Maybe after the first of the year. First I plan to find a musical director and put a package together. Now I know how hard it is, but I'm hooked on it, and when I go back, I want to do six months without stopping."[24] She signed up with the William Morris talent agency.

That summer had taken both Buffetts to New York. Warren played bridge in Kay's apartment, and on other evenings Susie sang while he gazed at her rapturously from the audience. Her musical career bound them together—he was thrilled for her success. They considered buying an apartment in a landmarked building just off Fifth Avenue in New York City, which would have given them a permanent base in New York—but decided to pass.[25]

Susie was indeed loose about the timing, and by the fall of 1976 had made no plans to go back to New York. She still spent more time at Laguna than Warren. Moreover, her "clientele" around Omaha was a distraction. From Leila, who besieged Susie with hours of stories about the $38^{1}/_{2}$ wonderful years with Howard; to Howie, who was running a backhoe outside Omaha; to Dottie, who seemed to be sleepwalking through her life, so passive that one day when she called and reported that there was a big fire at her house, Susie had no sooner hung up the phone than she wondered whether Dottie had called the fire department. Susie phoned her sister back. Dottie said no, she had thought only of calling Susie.[26] And all these responsibilities came only from the family; outnumbering them by miles were Susie's "vagrants," lonelyhearts, and local relationships.

Instead of setting up commitments to sing in New York, therefore, she scheduled another round of performances for the spring of 1977 at the French Café in Omaha. With that, a magazine published by the *Omaha World-Herald* decided to do a cover piece on the millionaire's wife who set out to become a cabaret singer in midlife. The reporter, Al "Bud" Pagel, started out with a routine story, approaching Susie's friends and asking them simple questions about her life. What makes Susie sing? he wanted to know. Like many people in Omaha, of course, he had heard the rumors about Susie's extracurricular activities.[27] Susie's friends were "defensive" and "protective."

Eunice Denenberg "bristled" and declared, "Susie is one of those old-fashioned GOOD people that lots of folks today don't think exist. So they attribute some of their own baser behavior to her because it bothers them."[28] The worshippers circled to protect the saint. Pagel admitted that, faced with such an aggressive pack of defenders, yes, it did bring out a subconscious urge in him to toss a handful of mud at Susie's best white party dress.[29]

For her interview, Susie sat down with Pagel on the couch by the fireplace in the Buffetts' family room, with its Ping-Pong table and the posters on the wall that said things like "Love Is Here to Stay" and "Damn Everything but the Circus." She struck him as vulnerable.

"Being a performer is kind of the opposite of being a mother," she told him in her interview. "I'm not used to the care and feeding of Susan Buffett. Maybe I am a reinforcement for someone who is on the verge of thinking, 'I want to try something but I'm afraid to do it.' I'm just one more person who tried something but was afraid to do it." She paused. "That's the only story I have."[30]

The reporter gave some indication he was looking for more of a story than that. His curiosity had been piqued rather than muzzled by her pit-bull defenders. Susie opened up and talked about herself for five hours, without getting into her personal relationships. Still, by the end, she said she was astonished at what she had done: The woman whose lips were sealed like a mollusk's when people tried to pry her open at dinner parties had given herself to Pagel. In the process she managed to win him over as a friend.

When the story was published, the cover of the magazine read, *What Makes Susie Sing?* and featured a photo

of her with a "who knows?" expression, tentative smile, eyes tilted up, avoiding the camera. Inside, Susie faced away from the camera in the photographs, gazing down at Hamilton with a small smile and looking at her hands on the piano keyboard. Something inward, an uncertain dream, had replaced the open-jawed grin that nearly always appeared in pictures of her.

The morning the story came out, Susie showed up on Pagel's doorstep with a huge box of See's Candies, excited as a child at the portrait he had drawn of her. She put him on the guest list to her opening at the French Café and sent him an invitation.[31] He and other guests remember her as looking young and radiant that night, wearing a brunette shag wig and a sequined dress that hugged her newly svelte figure. Raven-feather eyelashes fluttered around her beaming eyes. The look on her face suggested that she was discovering that the care and feeding of Susan Buffett was not so bad. By now she had developed some polish as a performer, and smiled seductively while the crowd hooted and hollered in between songs.[32] Her guests saw the glow of a woman emerging from behind her role as a wife and mother onto the stage of her own life. The audience found her tender delivery and smooth liquid styling of pop standards and sentimental favorites engaging and sweet. Her repertoire of medleys—"Daddy" songs like "My Heart Belongs to Daddy" cabaret classics like "What Are You Doing the Rest of Your Life?" and her personal favorite, Sondheim's "Send in the Clowns"[33]—moistened eyes. When she sang, Susie's torchy side came to life and she opened up emotionally. Standing in the back with his arms crossed, watching his wife vamping and flirting and romancing her audience, Buffett, in good humor, remarked, "This is pretty good of me to let her do this."

Yet by the summer of 1977, Susie still had not followed up on her New York opportunities. Warren thought it was because his spontaneous wife resisted the structured time commitments required of a professional singer. Some of the Buffetts' friends questioned whether Susie's pretty warble and her appealing stage presence could compete with established singers of greater artistry. While Susie loved to perform, it was Warren's dream that his wife might become a singing star with a recording career. Her ambitions had always been harnessed on behalf of others, not herself. Meanwhile, the care and feeding of Susan Buffett was something separate, a more private matter.

There was the rub. Being a rich man's wife opened doors that would have helped her pursue a serious singing career. But it also opened doors that invited others to peer into her personal life, doors that she would prefer remained shut. Warren could stay at Kay Graham's house and be seen as her date in public in perfect freedom, while the gossip columns did no more than wink. Yet as a married woman, Susie had no such liberty. The women's movement had changed many things, but not that. With her privacy eroding, the question of how to deal with her increasingly divided feelings was beginning to tear her apart.

Stan Lipsey, their *Sun* publisher friend, was also having some issues with his marriage, and he and Susie sat on park benches in the mornings, sharing confidences. Both of them were interested in Eastern thought and the human-potential movement, which had sprung from the Esalen Institute in Big Sur, California.[34] They somehow convinced Warren, as well as Stan's wife, Jeannie, and Susie's sister, Dottie, to join them at a weekend workshop in a Lincoln hotel. The idea was to get in touch with yourself. The workshop started with an exercise to get people to open up to one another nonjudgmentally, a skill of Susie's. Warren's reaction to such an outpouring was nothing like his wife's.

"There were five hundred people who had come from as much as a thousand miles away. And they started doing all these crazy things. First we had to get a partner. And one of them was to start talking, and the other person, no matter what, just keeps saying, 'And then what?'

"So I paired up with this nice woman from Oklahoma, and she starts talking. Then she pauses and I say, 'And then what?' In ten minutes, she's sobbing uncontrollably. I've destroyed her, just by saying, 'And then what?' It was like I was boring into her. I felt like I was running a torture chamber or something."

After having misinterpreted this exercise in every possible way, Buffett left his tear-drenched companion, eager to move on. The leader told the participants to find another partner. "Now, when I hear the leader say, 'I want you to choose a partner of the opposite sex,' Lipsey says, "*I'm* looking for someone attractive." Buffett stood looking around like someone who didn't quite know what to do. "The next thing you know,"

says Lipsey, "he's paired with this very heavy woman."

"She was wearing a muumuu and weighed about four hundred pounds. My job was to get down on the floor. And then the leader said this woman was to give me the 'gift of her weight.' Which meant she flopped right down on top of me. There was this whale coming right at me. I was just—ack! It turned out to be the gift that never stopped giving.

"Meanwhile, in the other room, they were having people bark like dogs. I could hear Dottie—who was so uptight she could hardly say hello to somebody—trying desperately to bark."

Following a session of being blindfolded and led through the streets of Lincoln to experience sensory deprivation, Susie and Stan gave up and they all ran away to a movie theater to watch *Annie Hall*—"a nervous romance"—and "spent the rest of the weekend gorging ourselves on fried food and ice-cream sundaes," says Lipsey.

The summer of 1977, while Buffett again played bridge marathons at Kay Graham's apartment in New York, Susie stayed away from home at all hours of the day and night.

Howie got married that August to Marcia Sue Duncan, despite her father's warnings that she would not be happy with a guy who dug basements for a living and drove a pickup truck everywhere with a couple of big shaggy dogs in its cargo bed. After sending the newlyweds a gift, Kay Graham called Buffett to say how disgusted she was that Howie had spelled three words in the thank-you note wrong.

Over Labor Day weekend, Susie gave her final performance in Omaha, appearing at the Orpheum Theater as the opening act for singer/songwriter Paul Williams. In a pink chiffon gown, she smiled and beguiled as her smooth contralto oozed romantic jazzy ballads like warm honey, "languorous and sensual." She come-hithered the audience with "Let's feel like we're in love, okay?"[35] But in a small, gossipy city like Omaha, that announcement probably could have been left unmade.

That fall, Susie apparently began to realize what a mess her life had become. She went out until four o'clock in the morning, driving all the way to Wahoo—where she had spent her wedding night—playing music at top volume on the radio of her Porsche before returning at dawn to her lonely home.[36]

At her best Susie gave people part of her soul. Now panicked, she reached out to people and made her problems their own. Friends listened to her agonize in parks, on walks, on long drives. She stockpiled little sums of money and gave them to friends to hold, as if planning an escape. She appeared at Berkshire Hathaway's office in her tennis pal Dan Grossman's doorway, sobbing and asking for advice, while her husband sat in his office next door.

Susie seemed to realize on some level that she was compromising numerous people by letting them know more than her husband did about his troubled marriage and the secret yearnings of his disillusioned wife. You can't tell Warren, she said to one person. If you love him, you won't hurt him that way. If he ever found out, he would kill himself.[37]

So powerful was Susie, so beloved, so apparent was Warren's devotion to his wife, and so thoroughly had Susie trained everyone to think that he was helpless without her, that people accepted this burden. Some did it automatically, some did it out of loyalty, some did it uneasily, half aware of the flaws in her logic. But they all now felt responsible for keeping her secrets on the pretext of Warren's vulnerability.

Yet nothing appeared amiss at Gardiner's Tennis Ranch in Arizona, where the Graham Group was meeting that fall. Most of the group—now usually referred to as the Buffett Group—had long ago accepted the idea of "Warren-o" and "Susan-o" as an affectionate couple who lived separate lives. This year proceeded like any other, with Susie in attendance along with the rest of the wives. Bill Ruane presented Warren's *Fortune* article "How Inflation Swindles the Equity Investor."[38] Buffett explained that stocks, especially stocks of companies that can raise prices as their costs increase, are the best protection against inflation—but their

value is still eroded by severe inflation, a problem that he referred to as a "giant corporate tapeworm."[39] At a social break, Marshall Weinberg told Warren and Susie about his niece, who was living and working on a reservation with Native Americans. "Oh!" gushed Susie. "I would love to do that! It would be so wonderful to live so simply and help those poor people on a reservation that way." Warren looked at her. "Sooz, I'll buy you one," he said, deadpan.[40]

At age forty-seven, Warren had already accomplished everything he had ever imagined he could want. He was worth $72 million. He ran a company that was worth $135 million.[41] His newspaper had won the two highest prizes in journalism. He was one of the most important men in Omaha and increasingly prominent at a national level. He was serving on the boards of the largest local bank, the *Washington Post,* and a number of other companies. He had been CEO of three companies and had bought and sold successfully more stocks than most people could name in a lifetime. Most of his original partners were now enormously rich.

All he wanted was to keep on making money for the thrill of it without changing anything else about his life. He knew Susie thought he was obsessed with money, but she always had, yet they had managed to lead their lives in such a way so as to honor their differences while staying a united team for twenty-five years. Or so it seemed to him.

Later that fall, after the Buffett Group meeting, Susie went to visit a high school friend who lived in San Francisco. She stayed for four or five weeks. One relationship after another seemed to bind her to California. Her nephew Billy Rogers had moved to the West Coast to join the music scene. Susie had told him she would give him any help he needed to kick his heroin addiction, but she worried about him on his own in California. Bertie Buffett, who was now married to Hilton Bialek, lived in San Francisco and Carmel. Jeannie and Stan Lipsey were thinking of moving to San Francisco. Susie's widowed friend Rackie Newman now lived there. Susie Jr. and her husband were living in Los Angeles. Peter, on whom she had grown to rely, was now a sophomore at Stanford in Palo Alto. And she and Warren already had their own foothold in California—their vacation home in Emerald Bay, just south of Los Angeles. Fewer and fewer ties pulled her back to Nebraska. The house in Omaha was spooky empty: As soon as Peter left for college, Hamilton the dog ran away and went to live with one of Peter's friends.[42]

Spending this extended time in San Francisco, Susie found it a beautiful, creative, spirited city. At every angle from its rising hills, the bay and ocean and bridges and sunsets and rickrack rows of Victorian houses beckoned, Come look at me. A delirious mosaic of people, neighborhoods, architecture, culture, art, and music said, You'll never be bored in San Francisco. The thermometer never registered 110 degrees in San Francisco. The city's air raced through your lungs, clean and liberating. In the spontaneous, hot, do-anything-with-anyone mood of the 1970s, San Francisco was the capital of mind-expanding, hedonistic spirituality, a magnet of tolerance where people didn't judge one another.

Susie looked at some apartments. She came back to Omaha and went to the French Café, where she had been singing, and talked to Astrid Menks, who was the maître d'there on Monday nights as well as a sommelier and sometime chef. She and Menks were friendly; Astrid served her tea between sets at the French Café, and had catered a dinner at the Buffetts' earlier that year when Peter Jay, the new British ambassador to the United States, had visited Omaha. Knowing the Buffetts' tastes, Menks had either delighted or sludged Jay with the carbohydrate count of Warren's favorite meal: fried chicken, mashed potatoes, gravy, corn on the cob, and hot fudge sundaes.

Now Susie asked Astrid to look in on Warren and cook an occasional meal for him. Then she had a talk with him and said she wanted to rent a funky little cubbyhole in Gramercy Tower on Nob Hill so she could have a base in San Francisco.

Warren's tendency not to listen, to hear only what he wanted to hear, worked in Susie's favor as she explained that she was not leaving him. They were not "separating." They would stay married. Nothing would really change if she had a room of her own, a place where she could be herself in San Francisco. She simply wanted to surround herself with a city full of art and music and theater, she reassured him. Their lives were already on such different courses, and they both traveled so much anyway, he would barely notice the

difference. With the children grown, it was time for her to tend to her needs. She told him, over and over, "We both—we *both*—have needs." That part was for sure true.

"Susie wasn't totally leaving either, that was the thing. She just wanted a change."

In all of Susie's travels, in her talk of buying this place or that place, it had never occurred to him that she would leave, because it would never occur to him to leave her. "Wanting a change" and "not totally leaving" were the kind of ambiguous Buffettesque statements they both tended to make to avoid feeling as though they were disappointing anyone.

And then she left.

Susie went off to Europe for a few weeks with her friend Bella Eisenberg. She returned to Emerald Bay for Christmas with the family but left to go back to Europe again, where she connected in Paris with Tom Newman, son of her friend Rackie. Susie and Tom, who would soon be joining his mother in her new home in San Francisco, became instant friends.[43] Increasingly, it was clear that for Susie, having a place of her own in San Francisco did not mean renting a pied-à-terre that she would escape to for a week every now and then. Warren was hopeless at taking care of himself and Susie Jr. came back to Omaha for a couple of weeks to lend a hand. Since the Quicksilver wedding, she had spent much of her marriage calling her mother in tears. Big Susie was gently assisting her out of the marriage at the same time that she was extricating herself from many of the conventions that tied her to her own marriage. Susie Jr. tried to explain to her father that, given how much time he and her mother had been spending apart, his life was not going to be that different from before. But Warren had not previously thought of himself and Susie as living virtually separate lives. In his mind, Susie lived for him. She certainly acted as if she did when they were together. So it was a hard concept to grasp, that Susie wanted her own life and would not be there for him all the time.

Susie and Warren talked for hours and hours on the phone. Now that he understood, Warren would have done anything she asked to get her back, submitted to any conditions, met any demands—move to California, learn to dance. But apparently it was too late. He could not give her what she wanted, whatever that was. She explained it in terms of her freedom, her need to be separate and to fulfill her needs and find her own identity. She could not do that while spending all her time taking care of him. So he wandered aimlessly around the house, barely able to feed and clothe himself. He came to the office most days with a raging headache. In front of the staff, he maintained his self-control, although he did look as though he was not sleeping well at night. He was calling Susie every day, weeping. "It was as if they couldn't live together and they couldn't live without each other," one person said.

Seeing her husband helpless and destroyed, Susie wavered. She told a friend, "I might have to go back." But she didn't. They both had needs. One of her needs was for her tennis coach to move to San Francisco. She installed him in a tiny separate apartment down the way from her own. His understanding was that this was temporary and that when Susie got divorced, they would marry.[44]

While Susie waffled, she made no move to get divorced. "Warren and I don't want to lose anything," she told a friend who inquired about her plans. It wasn't the money she was talking about; she had enough Berkshire stock of her own. Susie was the type of person who never subtracted from but only added to her life, and she never thought of acting differently now.

Meanwhile, she phoned Astrid Menks at the French Café over and over. "Have you called him yet? Have you called him yet?"[45]

Susie knew her target well. Born in West Germany in 1946 as Astrid Beaté Menks after her parents "walked out of Latvia when Russia took it," Menks had emigrated to the United States at age five with her parents and five siblings on a converted, broken-down battleship. Her first sight of America as they pulled in to the harbor was a huge object approaching through a fog bank—the Statue of Liberty.

The Menks family was assigned to sponsors in Verdell, Nebraska, where they lived on a farm with a

potbellied stove and no electricity or indoor plumbing. When Astrid was six, the family moved to Omaha. Shortly afterward, when their mother was diagnosed with breast cancer, Astrid and her two younger brothers entered the Immanuel Deaconess Institute of Omaha, an all-purpose facility operated by Lutheran sisters that included a retirement home, an orphanage, a hospital, a church, and a recreational hall. Her father, who spoke little English, worked as a maintenance man on the grounds while the children lived at the orphanage. Astrid's mother died in 1954. When Astrid was thirteen, she was sent to a succession of three foster homes. "I can't say I had wonderful experiences in foster care," she says. "I felt more secure at the children's home."

After high school, Menks attended the University of Nebraska, until she ran out of money. After a stint at Mutual of Omaha, for a while she worked as a buyer and manager for a women's clothing store, although she dressed herself in thrift-store finds. Eventually she wound up working as a garde-manger in restaurants, slicing fifty pounds of zucchini and preparing cold foods. She lived in a little apartment downtown in the Old Market close to work, which was convenient because the rusted-out floor of her Chevy Vega had holes through to the street.[46]

She was always broke but knew everybody in the perpetually gentrifying warehouse district, and was one of a restaurant crowd that would help organize the area's would-be artists, stray singles, and gay men to put on a meal or a holiday feast. Small-boned, fair-skinned with ice-blonde hair and refined features, Astrid had a Nordic beauty with a subtle hard-knocks edge to it. At times she looked even younger than her thirty-one years. She always made light of her life struggles, but when Susie Buffett got to know her, Astrid was depressed, empty, and unfulfilled. Nonetheless, when it came to caretaking people in need,[47] she could out-Susie Susie any day.

Faced with all this badgering about calling Warren, Menks wasn't exactly sure where Susie was headed, so she was terrified. But finally she made the call.[48] Arriving at the door to cook a homemade meal, she found a cave filled with books, newspapers, and annual reports. Warren, who was incapable of functioning without female companionship, was desperate for affection; he had been trying to fill the void by taking Dottie to the movies and spending time with Ruthie Muchemore, a divorcée and family friend. Yet he was obviously still a lonely, miserable man who had been reduced emotionally to an eleven-year-old boy. He needed feeding. His clothes were a wreck. Astrid was the least pushy woman imaginable. But—as Susie had known would happen—when faced with a problem, she knew what to do.

Warren would eventually come to explain why Susie left this way:

"It was preventable. It shouldn't have happened. It was my biggest mistake. Essentially, whatever I did in connection with Susie leaving would be the biggest mistake I ever made.

"Parts of it are sort of not understandable. It was definitely ninety-five percent my fault—no question about that. It may even have been ninety-nine percent. I just wasn't attuned enough to her, and she'd always been perfectly attuned to me. It had always been all in my direction, almost. You know, my job was getting more interesting and more interesting and more interesting as I went along. When Susie left, she felt less needed than I should have made her feel. Your spouse starts coming second. She kept me together for a lot of years, and she contributed ninety percent to raising the kids. Although, strangely enough, I think I had about as much influence. It just wasn't proportional to the time spent. And then she lost her job, in effect, when the kids were raised.

"In a sense, it was time for her to do what she liked to do. She did a lot of volunteer things along the way, but in the end, that never really works that well. She didn't want to be Mrs. Big the way a lot of wives of prominent guys in town do. She didn't like being a prominent woman because she's the wife of a prominent guy. She loves connecting with people, and everybody connects with her.

"She loved me, and she still loves me, and we have an incredible relationship. But still…it shouldn't have happened. And it's totally my fault."

No matter how huge the wound or its reasons, as each day passed Warren discovered that he was still alive. And so eventually he fell back on the one role that suited him best: the teacher, the preacher. As long as he had his brains and his reputation, people would listen to him.

In the winter of 1978, Buffett turned with renewed intensity to writing his annual letter. The previous letter had been a brief, informative report on how the businesses were doing. Now he started drafting a lesson on how managements' performance should be measured, an explanation of why short-term earnings are a poor criterion for investment decisions, a long dissertation on insurance, and a paean to his friend Tom Murphy's skills in running Cap Cities. His neediness at the time was of an almost unfathomable depth. He reached out to Carol Loomis for companionship, partly on the pretext of making her the letter's official editor. She filled the hours on trips to New York as together they put a great deal of thought into how he wanted to convey these lessons to the people who had stayed with him throughout, those who had placed their faith in him: the shareholders of Berkshire Hathaway.[49]

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Blue Ribbon

Omaha and Buffalo • 1977–1983

By early 1978, with encouragement from Susie, Astrid Menks was coming to Farnam Street from time to time, cooking and caretaking. Susie was calling Astrid to cheer her on, saying, "Thank you so much for taking care of him." Gradually, however, the relationship with Menks became something more as Warren began to accept that Susie wasn't coming back to him.

At first, he and Astrid spent time at her tiny place down in the old warehouse district. In May she moved in with him, giving up the apartment where she had played after-hours hostess to *la bohème* Omaha. By the time Peter came home from Stanford that summer, she was growing tomatoes in the yard on Farnam Street and searching for Pepsi at thirty cents off a gallon. After so many months, "I never gave it a thought," Astrid says. "It just happened naturally."[1]

Astrid "just disappeared" from the downtown scene, says an acquaintance.[2] Meeting her, Buffett's friends were taken aback at the match. She was sixteen years younger, a blue-collar girl. Nonetheless, she knew everything that Buffett didn't about haute cuisine and fine wines, shellfish forks and chef's knives. In contrast to Susie's spending habits and preference for all things modern, Astrid haunted junk shops looking for bargain antiques. She prided herself on paying the least amount possible for her thrift-shop wardrobe; so parsimonious was Astrid that she made Buffett look like a wastrel. Far more of a homebody than Susie, her interests—cooking, gardening, bargain hunting—were narrow compared to Susie's constantly expanding and evolving tastes. Although modest, Astrid had a blunt-spoken, provocative wit that bore no resemblance to Susie's sly sense of humor and warm-hearted interest in others; Astrid's down-to-earth manner was as unlike Kay Graham's patrician refinement as could possibly be.

The advent of Astrid caused an upheaval in Buffett's other relationships. The unusual triangle clashed with Leila's religious tenets and her sense of public propriety—although of course she had little contact with and no influence on her son. Peter, on the other hand, knew his father was reaching out for companionship. He had been raised to take the remarkable in stride, and thought little of it. Howie was bewildered. To Susie Jr., it meant the classic stepmother problem: a barrier between her and her father and the problem of accepting that anyone besides her mother could be good enough for him. To Gladys Kaiser, Warren's chief protector, who guarded the office door, answered his phone, and handled his—and now Big Susie's—money, Astrid's arrival meant an additional level of stress, which she resented.[3]

Susie herself was shocked. This wasn't what she had had in mind when she stressed to her husband that they *both* had needs. In her mind, Warren's dependence on her was absolute; how could he need a relationship with anyone else? But it might have been predicted. Warren had searched his whole life for the perfect Daisy Mae, and whatever he wanted, Astrid did: buy the Pepsi, do the laundry, take care of the house, give him head rubs, cook the meals, answer the telephone, and provide all the companionship he needed. Astrid never told him what to do and asked for nothing in return except to be with him. The previous Daisy Mae, Big Susie, had fled Omaha partly to escape this endless well of neediness. As she adjusted to the shock, she came to accept the relationship, which did make her new life easier. Susie, however, was possessive by nature. No matter how she divided her own attention, she did not really want Warren to divide his. And thus it was Susie's expectations—not Warren's—that would come to define all of their roles.

The pieces of Buffett's life began to come back together into some sort of coherent whole. But he had been shocked into realizing the truth of Susie's insistence that sitting in a room making money was no way to spend a life; he began to see what he had missed. While he was friendly enough with his kids, he hadn't really gotten to know them. The reality behind the jokes ("Who is that? That's your son"[4]) meant that he would spend the next few decades trying to repair these relationships. Much of the damage could not be undone. At age forty-seven, he was just beginning to take stock of his losses.[5]

Warren, who placed a high value on honesty, was perfectly open about living with Astrid. Everybody knew (except Doc Thompson). Both Susie and Astrid, however, remained closemouthed about the situation, saying merely that they liked each other. Warren made only one public statement: *"If you knew the people involved, you'd see that it suited all of us quite well."* That was true, at least if compared to the alternatives. In this sense and others, the situation bore a resemblance to the life of Warren's idol, Ben Graham.

In the mid-1960s, Graham had proposed a novel arrangement to his wife, Estey, in which he would live half the year with his deceased son Newton's former girlfriend, Marie Louise Amingues, or Malou—ML, as she was called by the family—and half with Estey. Marriage was a concept that Graham had always honored more in the breach than in reality, but Estey had her limits, and had reached them. Ever since she said no, the Grahams had been separated but they never divorced. Ben and ML were in La Jolla and spent part of the year in Aixen-Provence. Estey lived in Beverly Hills. Ben felt perfectly friendly toward Estey, and ML was content to live without marriage.[6]

Graham had succeeded in maintaining both relationships in name only, however, and Buffett was not trying to emulate him. Buffett did not want two wives; for him it was a real strain to explain the relationships. Much later he would describe it this way: *"Susie put me together, and Astrid keeps me together. They both need to give, and I'm a great receiver, so it works for them."*[7] But the questions never ended, because explanations like these and statements that the arrangement suited all of them glided past the fundamental problem of all love triangles: If three weights balance on a scale, they can't all be equal.

The inequality of this particular triangle was multiplied because in fact it involved two triangles—but only one of them knew that. In a state of ignorance, Warren thought of Susie as the one who had been wronged. He tried to square things by placating her in private and showering her with lavish attentiveness in public, which left Astrid exposed and vulnerable. In a similar state of ignorance, Astrid—who admired and practically worshipped Susie—accepted that Warren would never marry her, ceded Susie the turf of all social and business events outside Omaha, and unhappily tolerated being called Buffett's housekeeper and mistress so that his marriage to Susie would appear as intact as possible. Buffett would come to rationalize this: *"Astrid knows where she fits with me. She knows she's needed. That's not a bad place to be."* And indeed, her role, however narrowly defined, did give Astrid a security that she had always lacked.

It had taken a literal change in geography for Susie to maintain her aura of the selfless Mrs. Warren Buffett while simultaneously seeking fulfillment in a life completely outside that role. Yet it was Warren who looked as though he were getting the best of both worlds, even though the new relationship didn't compensate for his loss. He couldn't defend himself against the impression that he had driven his wife to move out through his relationship with Katharine Graham or—because some people got the time line wrong—his relationship with

Astrid.

He wanted desperately to hold the remaining pieces together, and would try for the rest of Susie's life to make up for what he had done to disappoint her. But of course that didn't change who he was and obviously didn't mean he would stop seeing Kay. Buffett invited Graham to Omaha to visit the Strategic Air Command, probably as a pretext to introduce her to Astrid. Graham brought her best friend, Meg Greenfield, editorial page editor of the *Post* and one exception to Graham's freely acknowledged weakness—she did not usually get on well with other women when men were around.[8] On meeting an attractive woman, Buffett says, *"Kay's first thought would be how to get her out of the room."*

Buffett took them all to dinner with Stan Lipsey at the Omaha Club. Kay carried on a spirited conversation with Warren; Meg and Stan occasionally joined in. The conversation left Astrid, who was not the type to put herself forward, entirely on her own. Except for ordering, she sat in silence for the entire meal. Mesmerized as always by Graham, Buffett did nothing to help. A couple of dozen people at a huge table nearby carried on with a raucous birthday celebration. Finally the celebrants got up, stood in a circle, and started to make squawking-beak motions, flap wings, and wiggle tail feathers with their hands to the sound of music, doing the Chicken Dance. Ever Miss Proper, Graham sat staring with a "priceless" look on her face.[9]

From then on, Buffett almost always saw Graham outside of Omaha. When she called the house and Astrid answered the phone, Kay had nothing to say.[10] She handled the situation mostly by acting as if she believed that Astrid didn't exist, except for calling Astrid once to ask how to work her VCR.[11]

Susie and Astrid were on a wholly different footing; they were perfectly comfortable with each other, and Astrid even went to San Francisco to visit Susie. Susie's stark cubicle on Nob Hill now looked like a little girl's room, gussied up with dolls and pillows and posters and a Mickey Mouse phone. She used the kitchen cabinets to store her blouses.[12]

Susie by now was grateful to Astrid for making her life easier, as long as Astrid accepted the limited public role that Susie had defined for her. Moving to San Francisco had been difficult enough because she had had to leave behind so many friends and causes she cared about. Her departure had left shock waves in its wake. The Future Central Committee, Planned Parenthood, the Urban League, and other civil-rights organizations regrouped, but all felt a huge hole had been ripped from their center. Her friends and her hangers-on had coped in varying ways. A few felt abandoned, others simply missed her. Some began going back and forth to San Francisco, considering it a sort of second home. A couple of them even followed her to San Francisco and relocated there.[13]

To many of the Buffetts' friends, the explanation that Susie needed to live in San Francisco because it offered her a richer palette that she couldn't find in Omaha conveyed a vague impression of time spent visiting art galleries, jazz clubs, and the symphony. But by the late 1970s, San Francisco was not the Paris of America. A wave of returning war veterans had washed up on the Bay Area's shores, many of them injured physically, mentally, and spiritually. The worst-scarred relics fell to the pavement with the winos and the burned-out addicts left from the days of the skinny-dipping hippies who had blown their minds on LSD and pot in the Haight. Those still drawn to San Francisco for its hedonism, sexual freedom, and liberation stepped through a growing puddle of homeless on the streets. The gays had burst from the closet earlier in the decade, in a celebration of freedom that peaked at the Gay Pride Parade in Golden Gate Park in 1976. But a Florida singer named Anita Bryant began what became a national campaign of gay-bashing, which culminated in the murder of San Francisco mayor George Moscone and Supervisor Harvey Milk by a homophobic city employee in November 1978.[14] After the jury accepted the assassin's insanity defense and returned a verdict of manslaughter, some of the worst rioting in its history rocked San Francisco.

Among the first of Susie's new friends were a gay couple, one of whom was a former anesthesiologist who had left Omaha after a malpractice incident. She added others—musicians, artists, people she met in stores, at church, while getting her nails done, at the theater, at the Esalen Institute in Big Sur. She soon had a large circle, many if not most of whom were gay men. The rebel in Susie blossomed in San Francisco's heady

atmosphere, and her new life liberated her. The former hostess of charity luncheons now threw parties that felt like being backstage at a rock concert; she opened up her doors and invited in the carnival. But, true to form, she also took up a cause, once again defying convention. As she worked the soup kitchen lines, she became the accepting mother that many of her gay friends had never had.

The part of her life that Warren still controlled was the money. She had plenty of Berkshire stock, but under the deal they had worked out, she wasn't to sell a share. She fell in love with a Marc Chagall painting and wanted to buy it for her tiny new apartment. But she told a friend that she couldn't do it. "It would ruin everything," she said. Warren was equally clear: "I don't want you selling Berkshire shares." He still covered all her expenses. Gladys monitored her spending and paid all her bills.

Similarly, it was Warren whom Susie got to lend her friend Charles Washington $24,900. He was an Omaha activist whom she had championed through thick and thin; he in turn had been one of the protectors who defended her stoutly to Bud Pagel, the reporter who asked "What Makes Susie Sing?" Buffett thought the loan was a terrible idea, and probably wouldn't have agreed to it were he not now so eager to please his wife. Sure enough, seven months later, Washington missed a couple of payments. Rarely did anything pierce Buffett's pleasant demeanor, but if he felt someone was trying to cheat him out of money, his eyes would flash pain and rage and revenge all at once. Within seconds, at most, the emotion would subside while he considered a businesslike response. This time, he promptly filed suit against Washington and won a judgment of $24,450.

The Washington episode symbolized the reality of Warren and Susie's new relationship; if Susie was to keep all her stock, his grip on the checkbook had to loosen. Warren gave her an allowance, besides covering all her bills: This was her giveaway budget. When the children had needs, she took care of expenses that Warren wouldn't. Howie had sold some of his Berkshire stock to build a tree house for him and Marcia to live in. They were struggling with their finances as well as their marriage. "It's just terrible that Warren won't pay for it," Susie grumbled. "He was going to let the ceiling fall in. He was going to let them lose the house." But this was part of their game: Warren knew that Susie would take care of it for them, as she had taken care of Little Sooz when she was unhappy in her marriage, as she always took care of everything.

Everything, that is, except the money. Making that was Warren's job, and all these changes and complexities and mounting bills had come at a time when the family fortunes were declining. Just as Susie was leaving for San Francisco, Warren had been dragged into court in Buffalo, New York, for a costly battle between two newspapers. Normally he was competitive enough to roll up his sleeves and relish something like this. But now, since he was facing a personal crisis, it became an expensive, absorbing episode that shut out the rest and blunted the pain. The *Buffalo Evening News* drama would be a protracted battle, one that would threaten Blue Chip's value and rank among the most unpleasant of his career. It bore a vivid resemblance to the conflict he had faced in Beatrice many years before, one he had sworn to himself never to repeat.

In the spring of 1977, he and Munger had finally bought the daily newspaper for which they had been searching these many years. At $35.5 million this was their biggest purchase ever.[15] Rusting, icebound Buffalo wasn't the growing one-newspaper town of their dreams, but it was still a good place to own a newspaper. Buffalo's citizens left for their factory jobs before dawn and read the paper in the evenings. The *Buffalo Evening News* dominated its nearest competitor, the *Courier-Express,* which was weak financially. Buffett had developed a well-founded theory of competition in the newspaper industry.

"Kay was always saying how competition made them better and all that stuff. I said, 'Lookit. The economics in the business is inevitably leading to one newspaper in a town. Survival of the fattest is what I call it. And you win. There is no second place. There's no red ribbon. In the end, there isn't going to be any competition because that isn't the way it works.'"

The *Courier-Express*'s staff and publisher had also figured out that there was no red ribbon in newspapers. In 1920, seven hundred cities in the United States had two major newspapers. By 1977, the number was down to not quite fifty. On weekdays, the *Evening News* sold twice as many papers as the *Courier-Express.* The *Courier-Express* clung to survival through having the only Sunday paper in town, which made up sixty percent of its revenues.

The *Evening News* had been offered to the *Washington Post,* which had turned it down. Kay Graham could not stomach another paper with a strong labor union. Buffett was not afraid of that. *"We sat down with the unions before we bought it and said, 'Lookit, we could be wrong for a variety of reasons, but there's one thing that will kill any paper in a two-paper town, and that is an extended strike. You guys have got the ability to do that to us. And if you do it, well, you know, we'll have lost. But that is a risk we're taking, and we want you to understand we're taking it. Although you hold the card, if you play it, we both lose.'"* The unions seemed to understand.

Buffett and Munger's empire now had assets of over half a billion dollars,[16] and controlled more than half of Berkshire Hathaway and sixty-five percent of Blue Chip. These two companies owned National Indemnity, the Rockford Bank, See's, Wesco, ten percent of the *Washington Post,* a quarter of Pinkerton's detective agency, fifteen percent of GEICO, and a bushel of other stocks—and finally the daily city newspaper he had sought for so long.[17]

Murray Light, the managing editor of the *Evening News,* quickly discussed a plan with Buffett to start a weekend edition, a plan that the imperious former owner, the aristocratic heiress Kate Robinson Butler, had never liked. The late Mrs. Butler, a diminutive tyrant with bouffant white hair, had growled at her employees, pounded her fist on the leather surface of her imported French desk, and seen no need to change with the times.[18] She rode the few blocks to the office from her ornate mansion, a major Buffalo landmark, in the back of a Rolls-Royce limousine and was said to be less interested in the newsroom than in her trips to Europe in pursuit of a prince worthy of her daughter's hand.[19]

The *News'*s publisher, Henry Urban, had gotten on well with Mrs. Butler, a large part of his job being to calm her on the many occasions when she took issue with the paper's editorials. Mrs. Butler's focus was not on profits, and neither was Urban's. *"You will not find a nicer man than Henry Urban. But the idea of negotiating with the newsprint producers just wouldn't enter his head. As soon as I got there, the newsprint producers said, Does Mr. Buffett like to fish? And I told them, Well, Charlie likes to fish, but I buy the newsprint."* The *News* was paying ten percent more than other papers just across the bridge in Canada paid, and the same as publishers paid in Florida, California, and Dallas. Buffett wanted thirty bucks off to reflect lower shipping costs. *"We were buying forty-thousand-plus tons a year. So thirty bucks was $1.2 million on a company that wasn't making any money."* He Buffetted the newsprint producers. *"I told all seven, we have contracts for various lengths of time at the wrong price. You've got the lowest freight cost of any American customer with us and you're charging us the same. We will honor those contracts, but if you don't renegotiate them, you will never have another newsprint contract with us again."* He won.

But lower shipping costs alone would not cure the *Evening News'*s blues. Buffalo's newspapers existed in an odd sort of equilibrium. One controlled weekdays, another weekends.[20] Buffett and Munger agreed with Murray Light that the *News* had no choice but to extend its weekday advantage by expanding.[21] "We had to do what we did if we were going to compete effectively," says Munger. "One side or the other was going to win."

Two weeks before the *Evening News* launched its new Sunday edition, the *Courier-Express* filed suit on grounds of antitrust, saying the *News*'s plan to give away free papers on Sunday for five weeks, then to sell at a discount, amounted to an illegal monopoly that was trying to run it out of business.[22] The *Courier-Express*'s lawyer, Frederick Furth, hit upon an ingenious strategy to spin Buffett's views about no red ribbons into a story about monopolists from out of town stomping all over a local business.

Furth's subpoenas produced a sheaf of documents suggesting that Buffett and Munger were well aware that vigorous competition would doom the *Courier-Express.* The *Courier-Express* launched an all-out public-relations war, starting with a page-one story, amply fleshed out inside, and days and weeks of follow-up coverage, all portraying itself as a tiny neighborhood David fighting ruthless Goliaths from out of state. This message found eager ears in Buffalo, where jobs fell like rust flakes from the once-proud city's oxidizing employment rolls.

No sooner had Buffett been released from the hell of the Wesco investigation than he found himself embroiled in another bitter legal fight, one that would require his presence in the frigid, unfriendly locale of Buffalo, New York.

The *News* began to drain Blue Chip's coffers. Buffett's lawyer, Chuck Rickershauser, had by now left Munger, Tolles to become the head of the Pacific Coast Stock Exchange. His replacement, Ron Olson, came to Buffalo to fend off the charge of monopolist-as-liquidator, part of a team Munger had assembled from Los Angeles. Olson filed an affidavit that spoke of his client's love of newspapers beginning with his inky-fingered childhood, and his role in the *Sun*'s Pulitzer Prize. The *Courier-Express,* meanwhile, had tried to be so clever as to run a flattering profile of every judge who might be chosen for the trial, "to suck up to the judge."[23] The case ended up being tried by one they missed. Still, fortune nonetheless favored the *Courier-Express* in the assignment of federal judge Charles Brieant of the Southern District of New York. Buffett had always prided himself on being able to size up a business very fast, from its balance sheet alone. In his first appearance in court in Buffalo, the *Courier-Express*'s lawyer, Furth, portrayed Buffett as someone who knew little of the *Buffalo Evening News,* having never inspected its plant and having failed to hire consultants to study the paper before buying it. Furth accused Buffett of having discussed whether the *News* would put the *Courier-Express* out of business, which Buffett denied. Furth approached the witness stand waving a copy of a recent, glowing *Wall Street Journal* profile of Buffett. His growing fame was about to be used against him as a weapon for the first time.[24] Buffett had told the reporter how glad he was to be out of money management, his ego no longer on the line. But, in fact, with his newly heightened profile, his ego was now more on the line than ever before. In this story, his friend Sandy Gottesman had been quoted by the reporter as saying, "Warren likens owning a monopoly or market-dominant newspaper to owning an unregulated toll bridge. You have relative freedom to increase rates when and as much as you want."[25]

Had he said this? Furth demanded in court.

No, well, Buffett responded, "whether it is like a toll bridge I don't remember, but it is a great business. It may be better than a toll bridge in Fremont, Nebraska. I know a lot of honest people, but when they start giving quotes they don't necessarily get them—"

Furth bore down. Did he believe it or not?

"I won't quarrel with that characterization…. I would like to own one…. I have said in an inflationary world that a toll bridge would be a great thing to own if it was unregulated."

"Why?" asked Furth.

Buffett looked at the judge, to whom he was trying to teach economics. "Because you have laid out the capital costs. You build the bridge in old dollars, and when there is inflation, you don't have to keep replacing it—a bridge you build only once."

"And you used the term 'unregulated' so that you can raise prices; is that right?"

"That is true."[26]

Buffett now hung twisting in a net of his own weaving. A toll bridge, the Douglas Street Bridge over the Missouri River, was, in fact, a prominent feature of his youth.[27] During Buffett's childhood, Omaha had been torn for more than a decade over how to liberate the only route to Iowa from the toll-taker's grasp. He and Munger later *tried* to buy the Detroit International Bridge Company, which owned the bridge that connected Detroit and Windsor, Ontario, but wound up with only twenty-four percent of the company.[28]

"It was one hell of a bridge. A thousand square feet, and it made more money…I was terribly disappointed when we didn't get it. Charlie kept telling me how well off we were that we didn't get it. Because, he said, what could be worse for your image than a guy who raised the prices on a toll bridge?"

Indeed.

"The judge didn't like me. For one reason or another, he just didn't like me. He didn't like our lawyers either. Most people like Ron Olson, but the judge did not like Ron."

Judge Brieant's ruling on a preliminary injunction, which was issued in November 1977, said that the *Evening News* was perfectly within its rights to start a Sunday paper and it was in the public interest that it should do so. But Brieant, apparently taken with Furth's exploitation of the toll-bridge theme, took off with it on a flight to the land of metaphor, lamenting that the "readers and advertisers of Greater Buffalo [might] conclude that they can get along with only one newspaper as their unregulated toll bridge to the events of the outside world."[29] He deemed the *News'*s plan predatory and enjoined it against promoting, marketing, or distributing its new Sunday edition except under severe restrictions. The judge hamstrung the *News'*s ability to offer free papers, discount pricing, and guarantees to advertisers, among other restrictions. The most problematic rule he imposed required subscribers to fill out a form each and every week to order that Sunday's paper. The *Courier-Express* fired a prepared publishing barrage crowing about its victory over an out-of-town bully that was trying to drive a small-fry local business into the ground. The *Evening News* could say nothing in response.

"Now we were going to lose or win, and we had a judge who didn't like us, and we were operating with our hands tied and under threat of contempt."

Courier-Express employees began to police the minutiae of the order, and proved that the *News* had delivered some Sunday papers to people who had not filled out the proper forms. Judge Brieant held the *News* in contempt.

Five weeks later, advertisers had rallied behind the *Courier-Express,* and the new Sunday edition of the *News* could boast of only a quarter of the *Courier-Express'*s ad lineage.[30] The *Evening News* swung from a modest profit to a whopping $1.4 million loss.[31] Buffett was chilled by the news. No business he had ever owned had lost so much money so fast.

On a miserable, rain-driven day the week before Christmas 1977, Judge Brieant called the court into session for the beginning of a trial that would determine the terms of a final injunction. Buffett had spent the latter part of the fall sleepless and in tears, trying to digest what it meant that Susie was gone and yet not really leaving him. His idea of a distraction from his personal woes had been to cling like a junebug to Carol Loomis, Astrid, and Kay Graham in turn as he flew back and forth between New York, Omaha, and Washington. Certainly he had not wanted a distraction like this. The trial went into recess as he flew to Emerald Bay for the annual holiday family gathering, the first under the new arrangement with Susie, during which she would continue to reassure him that their lives would go on much as before. As soon as the Buffetts' New Year's Day party was over, Warren and Susie went their separate ways, Judge Brieant reconvened the litigants, and Olson and Munger began calling Buffett with updates on the trial as he returned to work in Omaha.

In July 1978, he was with Carol and George Gillespie. *"We were playing bridge in Kay's apartment in New York with Charlie, and Judge Brieant's decision came in. I gave it to Charlie, and he read it, and he said, 'Well, this is pretty well-written.' I was so damned mad. I didn't give a damn whether it was well-written or not, I was living with all these restrictions. I was not about to admire his prose."*

Judge Brieant's final opinion, a masterpiece of judicial unrestraint carrying the subtitle "Mr. Buffett Comes to Buffalo," kept in place restrictions against the *Evening News.* Munger and Olson planned to appeal. Characteristically, Buffett did not want to lengthen the fight with the judge. Munger had always kidded Buffett that his management technique was to take out all the cash from a company and raise prices. If that failed, Buffett didn't have any more arrows in his quiver. This technique wouldn't solve the problems of the *Evening News.* Buffett was so beaten down and wanted so badly not to get into a confrontation with the judge that he was willing to let $35.5 million go down the drain. A remnant of his last big legal battle was only

now ending: The SEC had finally, at long last, approved the merger of Berkshire and Diversified. Buffett wanted desperately to be done with lawyers, depositions, subpoenas, and fighting. *"I didn't want to appeal. I just felt it would take so damned long, it would irritate the judge, and that we had more to lose by irritating him as he enforced this injunction and as the Courier came up with all these furious attacks, and he could just keep extending it. I declared, We're not going to appeal because in a year or year and a half we'll be dead anyway. And Ron and Charlie told me I was wrong, and I was wrong."*

In the end, he decided to go along with them. *"We had to appeal. I wasn't going to give in to a set of conditions which were going to make us noncompetitive. So basically I had no choice. We don't bluff. It's not my style, anyway. Over a lifetime, you'll get a reputation for either bluffing or not bluffing. And therefore, I want it to be understood that I don't do it."*

The *Buffalo Evening News* was Buffett's single largest investment, and by a wide margin. It was tying up a third of Blue Chip's capital, losing money under Judge Brieant's restrictions, and vulnerable to any strike that would weaken it further at a time when the stock market was falling and Buffett needed it to produce cash to buy stocks at the bargain-basement prices he always favored. The potential failure of the *Buffalo Evening News* risked more than setting him and Munger back their $35 million; for the man who begrudged spending $31,500 on a house because that money could ultimately turn into a million, the lost compounding potential of their investment in the newspaper made the situation much graver than it appeared superficially. So Buffett not only decided to appeal the decision, but he Tom Sawyered Stan Lipsey, who was thinking of moving to San Francisco, into trying to turn the paper around. "What would you think about going up to Buffalo?" Buffett asked. "My heart sank," Lipsey says, "but I couldn't turn Warren down on anything."

Lipsey went to Buffalo to provide some temporary help and arrived in the aftermath of Buffalo's worst blizzard in years, banks of snow plowed as high as the rooftops of buildings. He stayed in the hotel that Buffett recommended and ate at Buffett's favorite steak house—and was baffled at how Buffett could stand either one of them. The next morning when he arrived at the office of the *Evening News,* he quickly saw why Buffett had sent him. The news product was excellent, but the business management was sloppy. He sat down at a secretarial desk and worked from a manual typewriter. A manager appeared at his side and asked, "What kind of liquor do you want?" Lipsey asked what he meant. Well, said the man, as a manager you're entitled to two cases of booze.[32]

Lipsey started spending one week a month in Buffalo. On one of his weeks in Omaha, he joined Warren and Astrid to take the temperature of Buffett's current life. Warren was clearly relaxed in his new relationship. He let Astrid take them all to a drag show.[33]

By 1979, Lipsey had straightened out the paper's management, and victory was approaching in the battle of the legal briefs with the *Courier-Express.* In April 1979, nearly a year and a half after Brieant's preliminary injunction, the Second Circuit Court of Appeals unanimously reversed him, saying his opinion was "infected with legal and factual error." There was "simply no evidence that Mr. Buffett acquired the *News* with the idea of putting the *Courier* out of business…. All that the record supports is a finding that Mr. Buffett intended to do as well as he could with the *News* and was not lying awake thinking what the effect of its competition on the *Courier* would be…. Courts must be on guard against efforts of plaintiffs to use the antitrust laws to insulate themselves from the impact of competition."[34]

But the reversal of Judge Brieant's order was a victory that came almost too late. The *Courier-Express* immediately appealed the ruling, seeking to reinstate the injunction. The *News'*s lawyers wearily took up their swords to continue the ludicrous fight. Meanwhile, despite tighter management controls imposed by Lipsey, the battle had cost so much in legal fees and lost advertising lineage while the *News* operated under all the judge's restrictions for the better part of two years that it was losing millions—a $5 million operating loss before tax in 1979—multiples more than Buffett or Munger had ever experienced in any of their businesses. It was going to take heroic work to make the money back.

"How about moving to Buffalo?" Buffett asked Lipsey. "I don't really want to do that," Lipsey replied. Buffett said nothing, and Lipsey continued commuting.

By mid-1979, the stock market was sunk in gloom, and orders for stocks, Buffett said, were placed "with an eyedropper."[35] The Dow had languished for a decade, bucking and stalling in snorts and gasps, like a beat-up car with a faulty carburetor. Its latest stall-out took it back down to the familiar territory of the mid-800s. Gerald Ford's replacement in Washington, Jimmy Carter, wore Mister Rogers sweaters to promote energy conservation; it backfired, and he seemed to embody the United States' impotence in dealing with Iran, where the Ayatollah Khomeini had deposed the Shah. The empress would no longer waltz around the dance floor at the Iranian Embassy. A partial meltdown at the Three Mile Island nuclear plant released radioactive material into the atmosphere; inflation galloped at double digits; and lines formed at the gas pumps. *BusinessWeek* declared "The Death of Equities," as if no one would ever buy stocks again. A mood of deep pessimism settled on the country.

Investors piled into gold, diamonds, platinum, art, real estate, rare coins, mining stocks, feedlot cattle, and oil; "cash is trash" was the watchword of the day. High school girls wore necklaces made of Krugerrand coins. A brash new trustee at Grinnell, Steve Jobs, protégé of the esteemed Bob Noyce, tried to talk the investment committee into selling all the stocks and buying gold.[36] An engineer in his mid-twenties, Jobs was obviously a very smart guy, but the investment committee demurred, and Grinnell did not buy gold.

In *Forbes,* Buffett wrote the opposite: It was time for investors to buy stocks. "The future is *never* clear," he wrote; "you pay a very high price in the stock market for a cheery consensus. Uncertainty actually is the friend of the buyer of long-term values."[37] *He* was the buyer of long-term values—except that he had no cash. Periodically, cash had showered on Buffett since the beginning of the decade—$16 million from distributing the partnership assets, then millions more from the sale of Data Documents stock, a private investment. But he had poured it all into Berkshire Hathaway. Buffett wanted money to invest. He had always paid himself only $50,000 a year, a number that he now raised to a still-modest $100,000. He borrowed some money from banks and started to invest again.

And finally, Stan Lipsey made the move Warren had been hoping for. One day in 1980 Lipsey showed up at Warren's unlocked back door in Omaha to say that his wife, Jeannie, wanted a divorce and that her lawyer was, from Stan's perspective, raising hell. Buffett reminded Lipsey of something Tom Murphy had taught him. "You can always tell them to go to hell tomorrow, Stan," he said. He invited the sparring lawyers to his office and helped mediate the end of a marriage between his friends—the second time he had done so. Not long before, Buffett had brokered peace between his friend Ed Anderson and his wife, Shirley Smith Anderson, an old friend of Warren and Susie's who had been Doris's "sorority mother." He was experienced at easing his friends through difficult transitions. He began talking to Lipsey about the need to make changes in his life. Maybe it's time, Stan thought. As the conversation progressed, Buffett helped Lipsey talk himself into moving to Buffalo. "It was typical Warren. He wanted me to come up here in the worst way," but in the end, just as with people investing in the partnership, it had to be Lipsey's idea.

Lipsey went to Buffalo, and stayed. Every Friday night, he called and gave Buffett the latest "horrible numbers," and each time, no matter how bad the news, Buffett remained encouraging and upbeat, thanking him for calling. "It was sort of mind-blowing," Lipsey says.[38] By the end of 1980, the losses had mounted to $10 million. Munger's 1980 Blue Chip annual report warned about the dire condition of the paper, and also complained darkly about the "leapfrogging of benefits" for the unions, repeating a warning Munger had first given in the 1978 report: "If any extended strike shuts down the *Buffalo Evening News,* it will probably be forced to cease operations and liquidate."[39]

Munger's viewpoint as he wrote these words and steered Blue Chip through the legal maze of the *Buffalo Evening News* could not have been helped by the dire and dark condition of his health. For several years he had stoically tolerated growing cataracts, until they reached the point at which his eyesight was seriously impaired. When he had cataract surgery on his left eye, it resulted in an extremely rare complication called an epithelial downgrowth: A specialized type of primary body tissue from outside the eye (probably corneal cells) got inside his eye and started growing like a cancer. The pressure and destruction of the optic nerve caused severe, disabling pain.[40] When he could no longer tolerate the agony of his slowly exploding eye, Munger arranged to have it eviscerated and replaced with a glass eye. But afterward, "I was like a wounded

animal for several days."[41] He could not stand up to be bathed by the nurses because he was so nauseated from the pain. He told Buffett that he wanted to die. Terrified of going through another such ordeal and facing the possibility of blindness, he decided to have the remaining cataract in his right eye scraped off without replacing the lens. Instead, he wore old-fashioned cataract glasses, thick as a jellyfish, over his "good" eye.

During Munger's ordeal, the *Buffalo Evening News*'s drivers' union—perhaps emboldened after three years with new management running the place under duress—demanded overtime for work not performed. The *Evening News* had been paying this in a temporary capitulation; now the union wanted it as part of its permanent contract. Munger and Buffett said not a chance. Then in December 1980, the Teamsters, figuring that Buffett couldn't take a strike while the battle with the *Courier-Express* dragged on, walked out at six a.m. after an all-night mediation attempt failed. Working with other unions, who crossed the picket line, Lipsey, Henry Urban, and Murray Light worked feverishly to get out the evening paper. Then, at the last minute, the pressmen walked off the job, pulling the page plates off the presses as they went.

Buffett figured he was sunk. From his decades of background in newspaper circulation, he knew that, even more than the pressmen, the tiny drivers' union—all of thirty-eight employees—had the power to shut the paper down. Other unions and volunteers could run the presses, but without the drivers to distribute the newspapers, the paper was dead. Buffett would not use nonunion replacements, concerned for their safety. *"I was not going to send our people out in December, in the dark, dropping papers in some rural area where some guy can hit them with a tire iron. I was sitting there in Omaha, and that's not a decision I was going to make for a bunch of people who were going to have the hell beat out of them."*

The *Evening News* closed its doors.

Buffett told the union that the paper *"has a limited amount of 'blood,' and if it bleeds too much, it will not live anymore…. We're going to reopen only if there is a reasonable prospect of a viable operation."*[42] That tipping point could quickly be reached.[43]

This time, the unions blinked. Within forty-eight hours, the *Evening News* was back on the streets. By then, the *News,* though still trailing on Sundays, had gained some ground on the *Courier-Express* and was crawling slowly toward the lead while maintaining its weekday advantage.[44] By the end of 1981, Lipsey and Buffett had cut the losses to $1.5 million a year, half of what the *Courier-Express* was suffering.[45] In a war of "survival of the fattest," it was almost certain to win—albeit at a staggering price. The *Courier-Express* had never given up the lawsuit trying to reinstate Judge Brieant's injunction, but its owners saw another judge, the judge of the marketplace, heading with the blue ribbon toward the *Buffalo Evening News.* The *Courier-Express* now tried to sell itself to press lord Rupert Murdoch, but the unions wouldn't cave in to Murdoch's demand that they give up seniority. And with that, the *Courier-Express* laid down its last card in September 1982. Its next move was to fold.

The *Buffalo Evening News* immediately rolled out a morning edition and changed its name to the *Buffalo News.* With victory in hand, Buffett and Munger went to a meeting of employees at the Statler Hilton downtown. Somebody asked about profit sharing. "There is nothing that anybody on the third floor"—where the newsroom sat—"can do that affects profits," Buffett said. Capital took the risk and reaped the rewards. He and Munger had staked $35 million on a series of decisions. They might have lost every dime; to them went all the profits that followed. The workers got a paycheck for the time and effort they put in—no more, no less. A deal's a deal. But after everything they had all been through, the staff was stunned at his lack of empathy.

As Buffett and Munger left the office, Munger walked past publisher Henry Urban, who was "waiting for at least a small accolade," said Ron Olson. Munger was famous for getting into cabs while people were talking to him as if he did not hear them and for disappearing through doors the second he finished talking without waiting for a response. Nonetheless Urban stood open-mouthed. Buffett followed along right after Munger without looking at anyone. Nobody said thanks. Olson, following in their wake, moved around the room shaking hands in an effort to make up for it.[46]

A year later, with higher ad rates and soaring circulation, the *News* was earning $19 million pretax, more than all the previous years' losses combined. About half of that went straight to Buffett. And as the excitement ended, his attention waned. While he still spoke well of the *Buffalo News* in his annual report, his interests had moved on to the next new thing.

PART FIVE

The King of Wall Street



43

Pharaoh

Omaha • 1980–1986

Five hundred of the grateful rich, wearing black tie and ball gowns, walked up the red carpet and into New York's swanky Metropolitan Club for Buffett's fiftieth birthday party. With Berkshire Hathaway trading at $375 a share, the Buffetts' net worth had more than doubled in the past year and a half. They could easily afford to rent the place.[1] Dotted among the Buffett Group members were semi-demi-celebrities like the actor Gary Cooper's daughter. Susie had ordered a cake shaped like a six-pack of Warren's beloved Pepsi-Cola. He had asked his old pinball partner Don Danly to bring him the balance sheet for Wilson's Coin-Operated Machine Company.[2] Buffett was beginning to gather materials from his early business efforts—treating these objects like totems and showing them to people with a slight tinge of reverence. They seemed like tangible evidence of himself, reassuring artifacts.

Susie brought her band from San Francisco and took center stage to sing a version of "Shuffle Off to Buffalo" to her husband:

Warren got fed up with candy
With stamps he wasn't handy….

The song continued for verse after verse on the theme of Buffett's latest caper: packing up his duffel and shuffling off to Buffalo to buy an undervalued paper.

Susie's star turn, corny but sweet, was the beginning of a new tendency. Buffett's family and friends had started to recount—in his presence—the list of the companies and investments he had collected like the beads on a rosary. The man himself, with eyebrows sprouting like ivy tendrils over the frames of his glasses, now looked less awkward in black tie. The modern Berkshire Hathaway that he had created churned out new beads for the rosary almost like a clockwork. Buffett's hunt for things to buy had become more ambitious, free of the cigar butts and lawsuits of the decades before. The great engine of compounding worked as a servant on his behalf, at exponential speed and under the gathering approval of a public gaze. The method was the same: estimate an investment's intrinsic value, handicap its risk, buy using margin of safety, concentrate, stay in the circle of competence, let it roll as compounding did the work. Anyone could understand these simple ideas, but few could execute them. Even though Buffett made the process look effortless, the technique and discipline underlying it actually did involve an enormous amount of work for him and his employees. As his business empire had expanded from coast to coast, from the shores of Lake Erie to the suburbs of Los Angeles, Kiewit Plaza remained at the center—a quiet but endlessly busy temple of commerce, furnished with dinged, scuffed steel-frame furniture and linoleum floors. With every new investment, there was more to do; but the number of people at headquarters barely changed. Buffett still remained behind closed doors, guarded by Gladys. The very rich Bill Scott now worked part-time and spent the rest of his days playing with his polka band. A new manager, Mike Goldberg, now augmented the headquarters staff. Verne McKenzie managed the finances. The employees rarely left their tiny offices except for the occasional conclave in the conference room, which seated only four people. No chats took place around the watercooler. As for a period of ease following the scuffle at the *Buffalo Evening News,* McKenzie put it this way: "There was never such a time."[3] Those who tested Rickershauser's Law of Thermodynamics found that the sun was indeed nice and warm, but Buffett was so focused and his mind worked at such speed that extended conversations with him left them sunburned. "My mind was so tired," said one friend. "I had to recuperate from seeing him," said another. "It was like being pounded on the head all day long," said a onetime employee.

Buffett had the energy and enthusiasm of a restless teenager; he seemed to remember every fact and figure he had ever read; he finagled people into volunteering for tough jobs, then assumed they could accomplish miracles; and while remarkably tolerant of others' quirks and flaws, was less so of quirks and flaws that cost him money. So eager for results was he, so confident of others' skills, so unaware of how far short of his own they fell, that he chronically underestimated people's workloads. Buffett, the sun around whom everyone revolved, was impervious to the effects of Rickershauser's Law of Thermodynamics himself.

"People tell me I put pressure on them. I never intend to. Some people like to apply pressure. I never do. It's actually the last thing I like to do. I don't think I'm ever doing it, but I've had enough people tell me that I do it that it must be true."

The managers out in the hinterlands who ran the businesses that Berkshire and Blue Chip owned were lucky because Buffett largely left them alone, his trick of management being to find obsessed perfectionists like himself who worked incessantly; then ignore them except for a "Carnegizing"—attention, admiration, and Dale Carnegie's other techniques—every now and then. Most would not have had it any other way.

The decisions Buffett had made about stocks in the 1970s were defiant bets against pessimism in the great bear market, plagued by rampant unemployment and consumer prices that rose at an intolerable fifteen percent a year. Now that bet suddenly paid off, thanks to a desperate President Carter, who had appointed a new Federal Reserve Chairman, Paul Volcker, in 1979. Volcker ratcheted up the central bank discount rate to fourteen percent to get inflation under control. In 1981, new President Ronald Reagan began to cut taxes sharply, started deregulating business—and supported Volcker despite the howls of pain his policies were causing. The economy and markets had been going through a seizure for two and a half years. Then, in late 1982, the bull market of the 1980s began its stampede as the prices of stocks started catching up with the growth in corporate earnings.[4]

Much of the money used for Buffett's late seventies spending spree came from a bonanza of float from insurance and trading stamps. While National Indemnity prospered, at Blue Chip stamp sales continued to

shrink, but investments made from the slowly dwindling pool of float from prepaid stamps paid handsomely.[5]

The turnaround of the *Buffalo Evening News* meant that Buffett and Munger no longer had to debate whether Blue Chip's largest asset was worth more dead than alive. The *News* would live; it now threw off a steady stream of profits. In 1983, they finally agreed on a value for Blue Chip, and Berkshire swallowed it whole—the last step of the great untangling.[6] Buffett and Munger were now full partners for the first time—although Munger was the junior partner by miles.

Buffett made Munger, who now owned two percent of Berkshire, the company's vice chairman. Munger also now took over as president and chairman of Wesco, a wee thing compared to the now-swollen Berkshire, but Munger's own. It dangled like a tiny strand of spaghetti from the corner of Berkshire Hathaway's mouth, the only morsel that Buffett had yet failed to swallow. Wesco's shareholders eventually figured out that he would get to it someday, and inevitably they began to value Wesco's stock at a forbidding price.

Munger's influence on Buffett's thinking had always far outweighed his financial clout. They thought so much alike that the main difference between their behavior in business was that Munger on occasion would veto deals that the more easily enraptured Buffett might have struck. Their attitude toward their shareholders was identical. With the merger done, in the 1983 annual report the two men spelled out to Berkshire's shareholders a set of principles from which they would operate. They called them the "owner-oriented principles." No other management told its company's owners these things.

"Although our form is corporate, our attitude is partnership," they wrote. "We do not view the company as the ultimate owner of our business assets, but, instead, view the company as a conduit through which our shareholders own the assets."[7]

This statement—deceptively simple—amounted to a throwback to a former generation of corporate governance. The modern-day corporate chief viewed the shareholders as a nuisance, a noisy or quiet group to be appeased or ignored. They were certainly not his partners or his boss.

We don't play accounting games, Buffett and Munger said. We don't like a lot of debt. We run the business to achieve the best long-term results. All of these sounded like simple truisms—except that so few managements could honestly make all of these statements.

Incidentally, Buffett also wrote that year, "[r]egardless of price, we have no interest at all in selling any good businesses that Berkshire owns, and are very reluctant to sell sub-par businesses"—even if that hurt performance—"as long as we expect them to generate at least some cash and as long as we feel good about their managers and labor relations."[8] That was a warning in the guise of a hint to Gary Morrison, who took over from Ken Chace at Berkshire in 1982 after the exhausted Chace retired. By then, Buffett had shut down the Manchester mill and cut back on production in New Bedford by one-third.

"The textile business would make money for about ten minutes each year. We made half the men's suit linings in the country, but nobody ever went to a tailor and said, 'I'd like a pin-striped gray suit with a Hathaway lining.' A square yard of cloth that came out of our mill cost more than a square yard from somewhere else, and capitalism's frugal that way. We'd get awards from Sears, Roebuck as supplier of the year, and we took them fishing, and supplied them during World War II, and I was personal friends with the chairman of Sears, and they'd say, Your products are wonderful. And we'd say, How about another half a cent a yard? And they'd say, You're out of your mind. So it was a terrible business."

Instead of "generating cash," Morrison begged Buffett to give him cash so that he could upgrade the mills. Buffett said no.

And yet he clung to the beleaguered mills. Thus, it had been even harder, like having a root canal without novocaine, for him to sell one of the company's most profitable businesses, the Rockford Bank. But he had had to do it; the Bank Holding Company Act required it in order for Berkshire to carry on its nonbanking interests (especially in insurance).[9] Even so, he still carried money with Gene Abegg's picture on it in his

wallet afterward.

He was equally loath to lose Ben Rosner, who had finally retired from Associated Cotton Shops. Rosner's underlings had made fun of his toilet-paper-pickin' ways. Sure enough, as soon as they took charge, Associated fell into the tank. For months, Verne McKenzie slogged back and forth to New York's garment district, peddling its soggy carcass.[10] Finally, he found some buyer willing to pay half a million dollars to haul away the remains of a business that only recently had earned Berkshire as much as $2 million a year.

A few of the Berkshire companies were so self-steering that it was hard to tell the difference between a well-run business and one guided by the wind alone. At Wesco, Lou Vincenti, who resisted being managed, succeeded in concealing his Alzheimer's from Buffett and Munger for several years.

"We didn't see him that often," says Buffett, *"and he would sort of get himself psyched up to try and get past that. Plus, we didn't want to see it. Charlie and I loved him so much we didn't want to face it."*

"Lou Vincenti was decisive, he was intelligent, and he was honest and shrewd," says Munger. "And he ran the last savings and loan in California to go to a computer-run system for depositor's accounts, because it was still cheaper to do it manually with community-college students working as part-time employees. You can see how that would turn Warren and me on. He was cranky and independent and a very good human being. And we loved him so much that even after we found out, we kept him in his job until the week that he went off to the Alzheimer's home. He liked coming in, and he wasn't doing us any harm."[11]

Buffett and Munger turned this story into a jokey parable, saying that they wanted more businesses that could be run successfully by a manager with Alzheimer's.

* * *

Buffett was sensitive to the subject of Alzheimer's. He took great pride in his powerful memory; now his mother grew forgetful. Her state of mind could be obscured by the way that Leila had always tended to live in the past, and to create her own ideal reality—her version of Buffett's bathtub memory, in which—whoosh—the plug popped up, and bad memories drained away. Now in her late seventies, her son's glory was her major joy, but Warren still trembled if he had to spend time with her. It was no wonder, since the old rages still flared up occasionally. By now, virtually every member of the family had had the experience of picking up the phone and hearing her wrath come scorching over the line. Her victims all ran for comfort to Susie, who said, "You have to understand that this just happens sometimes, to other people and not just you. Warren and Doris went through it for years. So just don't focus on what she said, because it's not true."[12]

Peter was one grandchild whom Leila had always left alone. She sometimes commented that he looked like Howard and had a way of walking like Howard, so possibly that was why. The resemblance was only in appearance, however. Peter had dropped out of Stanford not long before graduation and married Mary Lullo, a recently divorced woman six years his senior who had four-year-old twin girls, Nicole and Erica. Peter treated them as his own daughters, they began using the name Buffett, and they became great favorites of Big Susie's. Warren had been trying to interest Peter in Berkshire for some time and eventually sent his protégé, Susie's former tennis buddy, Dan Grossman, to talk to him about working in the business, but Peter had no interest; his future lay in music.[13] He cashed in $30,000 of his Berkshire stock to finance a recording and music production company, Independent Sound, scoring commercials out of his apartment in San Francisco with Mary as his business manager and promoter.[14]

Susie stayed close to Peter through his music, while she continued to toy with the idea of reviving her career, working with a pair of producers, Marvin Laird and Joel Paley. She took them to Omaha and toured them around the Old Market jazz clubs. They felt like they were writing an act for "their favorite English teacher." Susie displayed no signs of wealth, but since they had heard something about a newspaper and See's, they thought, "Maybe she'll pay us in candy."

At last they settled on an act that Susie would perform at Delmonico's in New York at a benefit for New York University. The act she wanted them to create would reflect her personality—a bohemian, gypsy soul and a wicked, sly sense of humor. In the end, however, she sang a conventional medley, replacing the soulful, passionate songs of 1977 with standards: "String of Pearls," "I'll Be Seeing You," "The Way You Look Tonight," "Satin Doll," "Take the A Train," "Seems Like Old Times."

At the benefit, Warren beamed as he watched his wife work the audience. Laird and Paley realized that showing off his talented, beautiful wife made Buffett proud and happy. It seemed to them that, unlike most show-business people, Susie's performance wasn't about her ego. Performing was a way of connecting with the audience, and giving something to her husband.[15]

Laird and Paley, who referred to themselves jokingly as "musical gigolos," became part of Susie's singing life, meeting Peter and going down to the Laguna house to work with her for the next few years on her music as she considered whether she could make a viable career out of it. They never met Susie Jr., who had moved to Washington, where Katharine Graham took an interest and arranged for her to work as an editorial assistant, first at the *New Republic* and then at *U.S. News & World Report.* In November 1983, in a huge wedding at New York's Metropolitan Club, she married again, this time to Allen Greenberg, a public-interest lawyer for Ralph Nader. Greenberg had her father's cool analytical bent and looked like someone who lived in a library. Both Susie's parents took to their new son-in-law immediately, and people remarked on how much Allen resembled Susie's father—rational, dispassionate, good at saying no. The newlyweds moved into a Washington town house but rented most of it out to other tenants and lived in a tiny apartment. By this time Susie Jr. had sold all her Berkshire stock—when it was trading for less than $1,000 per share.

Howie's first marriage, like his sister's, had not lasted. Despondent, he spoke to his father, who had told him a change of geography would do him good and suggested that he work at one of Berkshire's businesses. Attracted to California, Howie took a job at See's Candies in Los Angeles. Big Susie sent him to live with Dan Grossman, whom Buffett had installed at one of Berkshire's little insurers in Los Angeles when it ran into trouble. Howie started mopping floors and doing maintenance and worked his way up to ordering boxes, while getting into adrenaline-charged scrapes of various types. Buffett told him he had to stay at See's for two years. Howie prepared to wait it out in resignation, but he didn't last at Grossman's. He moved into the house at Laguna, where he felt more at home.[16]

By chance, Howie was partnered in doubles tennis at Emerald Bay with Devon Morse, a sweet, unhappily married blonde with four daughters. To impress her, he shimmied up a post to change the time on a clock by the tennis court, fell off, and broke his foot. She helped him get home, then showed up at the house with some food. They started to talk and he learned she was trying to leave her rich husband. The marriage that had eventually resulted from their relationship followed a series of Howie-type adventures; the couple removed the children from the home of Devon's husband, a gun collector whose house was filled with hundreds of weapons. In 1982, Howie had convinced Devon that it would be best to relocate to Nebraska, where they were married by a judge, with Buffett and Gladys Kaiser as witnesses.[17]

Buffett now had six step-grandchildren, and soon added a grandson when Howie and Devon had a child of their own, Howard Graham Buffett Jr., who would become known as Howie B. Buffett liked children well enough but was awkward and stiff around them and had no idea how to play with or engage a child. So he did as he had done with his own children—left them to Susie, who took up the role of grandmother with zest at family gatherings, and quickly added trips to visit grandchildren in Nebraska to her already extensive traveling routine.

Buffett involved himself more actively when it came to Howie's career. At first Howie had gotten a job in real estate, but what he really wanted to be was a farmer. Since he had no capital, Buffett agreed to buy a farm, which he would rent to his son—an arrangement rather like the one he had had with his sharecropper back when he was still in high school. Howie trudged through Nebraska, looking at over a hundred farms and making offers on behalf of his father, who was determined that a farm be a cigar butt and would not pay a nickel more than necessary. Finally, somebody bit in Tekamah, and Buffett plunked down the necessary

$300,000.[18]

Although he took Howie's rent checks, he didn't set foot on the farm. As with Susie's art gallery, he had no interest in the experience, only the money. He compared the farm, as a commodity business, to men's suit linings. *"No one goes to the supermarket to buy Howie Buffett's corn,"* he said.[19]

That Buffett tried to control his children with money yet never spent any time teaching them about money might seem odd, but it was the same story as with his employees: He felt any smart person could figure it out. He handed the kids their Berkshire stock without stressing how important it might be to them someday, explaining compounding, or mentioning that they could borrow against the stock without selling it. By now, his shareholder letters, polished to a fine sheen by Carol Loomis, had tackled most financial subjects, and he undoubtedly thought that these, along with the example of his life, served as adequate lessons. It probably didn't occur to him that his kids might need more personal tutoring than his partners.

Buffett did care very much about what they did with their stock, however, because he and Berkshire were as one. To sell the stock was to sell him too. Even so, he did not want his childen to live on Easy Street because of Berkshire Hathaway. Rather, he thought the future of his children and the future of Berkshire Hathaway would ultimately be joined not through ownership of the company, but by an act of philanthropy—their stewardship of the stock in the Buffett Foundation.

Buffett expressed his feelings on the subject of inheritance and philanthropy through a tribute he wrote in the *Omaha World-Herald* upon the death of Peter Kiewit, a near-mythical figure in Omaha. Kiewit's company, Peter Kiewit Sons', Inc., was reportedly the most profitable construction company in the world, once called the "Colossus of Roads."[20] Buffett and Kiewit never had business dealings, but Kiewit owned the *Omaha World-Herald* and Buffett sat on its board.

The childless, workaholic Kiewit had lived in a penthouse apartment in Kiewit Plaza, where Berkshire was headquartered, and he commuted to work by elevator. Buffett envied him this arrangement.[21] Kiewit was another Buffett prototype, a hard taskmaster and penny-pincher in the office who instilled his values through pithy little sayings. The company was his labor of love, and he was often "pleased, but never satisfied." "A reputation is like fine china," he said, "expensive to acquire, and easily broken." In making ethical decisions, therefore, "If you're not sure if something is right or wrong, consider whether you'd want it reported in the morning paper."[22] Also like Buffett, Kiewit was obsessed with managing other people's weight.

The main differences between them were three: Kiewit was a hands-on manager. He shunned publicity. And he only seemed to be a cheapskate. While in Omaha, he drove a four-year-old Ford and lived like a Spartan as an example to his employees, but at his Palm Springs vacation home he drove a Cadillac and lived a more-than-comfortable lifestyle.[23] Nevertheless, in many ways, Peter Kiewit exemplified Warren Buffett's ideas about how a life should be lived. When Kiewit died, Buffett's tribute not only honored the man, it expressed—as much as anything that Buffett ever wrote—how he would like to be remembered himself. [24]

"Starting from scratch," he wrote, Kiewit "built one of the great construction companies of the world…. Although not the largest, it may well be the most profitable business of its type in the country, an achievement possible only because Kiewit was able to transmit, throughout an organization of thousands of employees, an unremitting insistence on excellence and efficiency.

"Kiewit was overwhelmingly a producer, not a consumer," he went on. "Profits went to build the capacity of the organization, not to provide opulence to the owner.

"In essence, one who spends less than he earns is accumulating 'claim checks' for future use. At some later date he may reverse the procedure and consume more than he earns by cashing some of the accumulated claim checks. Or he may pass them on to others—either during his lifetime by gifts, or upon his death by bequest."

William Randolph Hearst, Buffett wrote, used up many of his claim checks by building and maintaining his castle in San Simeon. He arranged to have ice hauled daily to the bears in his private zoo, much the way pharaohs used their claim checks to build the pyramids. Buffett had meditated on the economics of the pyramids. If he hired a thousand people to build a pyramid dedicated to himself, he says: *"It would all go into the economy. Every dime. And a lot of forms of giving and spending are just a form of that. It's crazy, and it's probably somewhat morally wrong too. But there are people who would think it's great that you're giving employment to the people who are tugging the slabs for the pyramid. And they're making a mistake. It isn't productive. They're thinking in terms of input, not output.*

"If you want to build pyramids to yourself, and take a lot of resources out of society, you ought to pay like hell for it. You ought to pay a perfectly appropriate tax. I would force you to give back a huge chunk to society, so that hospitals get built and kids get educated too."

Instead, he noted in this article, some who earned the claim checks passed them along to their heirs, enabling hundreds of descendants to *"consume far more than they personally have produced; in effect, their whole lifetimes have been spent at the withdrawal window of the bank of societal resources."* Buffett found the results ironic.

"I love it," he says, *"when I'm around the country club, and I hear people talk about the debilitating aspects of a welfare cycle, where some woman had a child at seventeen, and she gets food stamps, and we're perpetuating a cycle of dependency. And these same people are leaving their kids a lifetime supply of food stamps and beyond. But instead of having a welfare officer, they have a trust fund officer. And instead of having food stamps, they have stocks and bonds that pay dividends."*

Peter Kiewit, he wrote, "made major deposits in society's bank…but his withdrawals have been few." He left about five percent of his wealth to his family. The rest went to a charitable foundation for the benefit of the people of the region in which he lived, the same causes that Kiewit had supported when alive. Most of the company continued to be owned by his employees, and Kiewit had ensured that they could sell only to one another. "Peter Kiewit could not have better served his community and his compatriots," Buffett concluded.

Among philanthropists, Buffett also admired Andrew Carnegie and John D. Rockefeller as original thinkers. Carnegie had built public libraries in poor neighborhoods all across the United States. The Carnegie Foundation had sent Abraham Flexner as an emissary to study medical education in the United States.[25] When his 1910 paper caused a national scandal by revealing the shocking condition of medical schools, Flexner convinced the Rockefeller Foundation to donate enough money to revolutionize medical education. Rockefeller also wanted to tackle problems that lacked a natural funding constituency. He found that poor black colleges, lacking rich alumni, had no way to improve themselves. *"In effect, John D. Rockefeller became their alumnus,"* Buffett says. *"He tackled problems without concern of which among them was most popular, and he backed them up big-time."*

At this point, the Buffett Foundation had a token $725,000 and gave away less than $40,000 a year, nearly all to education.[26] Susie ran the Buffett Foundation, which reflected their joint philosophy that money should go back to society. If she'd had access to them, Susie would have given away large amounts quickly. But Buffett was in no rush. He felt that by allowing the money to compound over time, there would be more to give away in the end—after he was gone. Certainly by 1983 he had a good argument in favor of this idea. Between 1978 and the end of 1983, the Buffetts' net worth had increased by a stunning amount, from $89 million to $680 million.

As he became richer, requests for money from friends, strangers, and charities poured in to Kiewit Plaza. Some were heartfelt pleas from the genuinely needy. Other people seemed to feel entitled to his money. The United Way, universities, cancer, churches, heart disease, the homeless, the environment, the local zoo, the symphony, the Boy Scouts, the Red Cross—all deserving causes, but the answer was the same: If I did it for you, I would have to do it for everybody. Some of his friends agreed with him, while others were perplexed that a man so generous with his time, advice, and wisdom was such a tightwad with his cash. It's not like it would kill him to peel off a few bucks, they said. Why didn't he find the *joy* in giving?

But as long as Buffett was still amassing the snowball, promising to give it all away after he died was like the "jam tomorrow" of *Alice in Wonderland*'s White Queen. "After he died" was the same as never; another hedge against mortality, one of Buffett's great preoccupations. The "White Queen" form of denial was self-reinforcing in a peculiar way. By now, the Buffetts had at least nine friends or relatives who had, or whose family members had, attempted or committed suicide. Most recently, one of his friends' sons had driven his car off a cliff on Christmas Eve. Then, Rick Guerin's wife, Ann, had shot and killed herself a few days before their son's eighth birthday. By now, Buffett had a queasy preoccupation with suicide that was perfectly reasonable under the circumstances. Yet he himself was determined to live as long as possible—and to make money until the very end.

As his wealth grew, Buffett's often articulated and unwavering determination to keep making money at a furious rate while withholding it from his family and his foundation finally sparked a rebellion among his friends. Rick Guerin had written to Joe Rosenfield about the possibility of Buffett becoming the world's richest man: "What will Warren do when he becomes No. 1 sled dog and sees that there's more to the world than hair and a small target? (He thinks it's a bull's-eye, but we know better.)"[27]

When the Buffett Group met in Lyford Cay, Bahamas, between the snorkeling and deep-sea fishing George Gillespie sparked a hot debate by organizing a talk on "The Children (and Charity) Will Have to Wait." Years earlier Buffett had said he gave his kids a few thousand dollars for Christmas each year and told them to expect half a million dollars when he died.[28] That, he thought, was "enough money so that they would feel they could do anything, but not so much that they could do nothing."[29] This phrase would become one of his mantras, repeated over the years. "Warren, that's *wrong,*" said Larry Tisch, one of his former partners. "If they aren't spoiled by age twelve, they won't be spoiled."[30] Kay Graham, tears streaming down her face, asked, Don't you *love* your children, Warren?

Prompted by Carol Loomis, *Fortune* took up the issue in a cover story: "Should You Leave It All to the Children?" Family comes first, many people said.

"My kids are going to carve out their own place in the world and they know that I'm for them, whatever they want to do," Buffett said. But "just because they came out of the right womb," setting them up with a trust fund—which he considered "a lifetime supply of food stamps"—could be "harmful" and an "antisocial act."[31] This was the rational Buffett. This Buffett had once written to a friend when his children were toddlers that he wanted to see "what the tree has produced" before deciding what to do about giving them money.[32]

Nevertheless, Buffett had made a decision that demonstrated newfound—if slight—flexibility. In 1981, he set up an innovative program in which Berkshire Hathaway would contribute $2 per share to a charity of the shareholder's choice. Berkshire did not pay a dividend, but this program allowed the shareholders to direct how the company spent its charitable dollars rather than letting top management donate to its pet causes and receive the credit. The program did not allocate much money, but for Buffett to do it at all was a loosening of the fist. And the shareholders loved it. The participation rate in the program was always close to one hundred percent.

To Buffett, the collector of information, the contributions program also turned out to be a tiny gold mine. It gave him an insight into the philanthropic interests of each shareholder, which he could never have gotten any other way. Collecting this information had no purpose whatsoever—even less than collecting nuns' fingerprints. Buffett, however, was insatiably curious and had a deep interest in knowing about his shareholders as individuals, as if they were part of an extended family, which was how he thought of them.

At fifty-three, Buffett—who had already "retired" twice—was thinking through issues of philanthropy and inheritance. The subject that visibly unnerved him was retirement. He joked about working after he was dead and made a point of highlighting elderly managers like Gene Abegg and Ben Rosner. But now they had retired, and Lou Vincenti had Alzheimer's. Perhaps it was not surprising, therefore, that Warren's next move would be to strike a deal with an eighty-nine-year-old woman, one who would outlast anyone he had ever met.

44

Rose

Omaha • 1983

Rose Gorelick Blumkin came to Omaha from the tiny village of Shchedrin, in the region of Minsk. Born in 1893, she and her seven brothers slept on straw on the bare floor of a two-room log house because her rabbi father couldn't afford to buy them a mattress.

"I dreamed all my life, since I was six years old," she said. "The first dream of mine was to go to America.

"In Russia, they used to have pogroms against the Jews. They'd cut up the pregnant women and take out the kids. They'd tear up their fathers and then have a dance in the main market. I was six years old when I found out about that. I said, I'm going to America when I grow up."[1]

At thirteen, Rose walked barefoot for eighteen miles to the nearest train station to save the leather soles of her brand-new shoes. She had the equivalent of four cents in her pocket and hid under a train seat for three hundred miles to save her money, until she reached the closest town, Gomel. There she knocked on twenty-six doors until the owner of a dry-goods store responded to her proposition. "I'm not a beggar," the four-foot-ten-inch girl said. "I've got four cents in my pocket. Let me sleep in your house and I'll show you how good I am." The next morning, "When I came to work I waited on customer. I rolled out the material and I added it up before anybody picked up a pencil. And at twelve o'clock he asked me if I was going to stay."[2]

By age sixteen, she was a manager, supervising six married men. "Don't worry about the men, Mamma!" she wrote her mother. "They all mind me!"[3] Four years later she married Isadore Blumkin, a shoe salesman in Gomel.[4] That same year, World War I broke out, vigilantes ran amok in Russia, and Rose made up her mind. They had money for only one passage to America, so she sent her husband and started saving to go herself. Two years later, the czarist monk Rasputin was killed by revolutionaries in December 1916. Fearing the chaos that would ensue even more than the cruelties of the czarist regime, Rose began her journey to America two weeks later, boarding the Trans-Siberian Railway on a train headed for China.

For seven days she rode the train until, at the border town of Zabaykai'sk, a Russian guard stopped her before she could enter China. She told the man she was buying leather for the army and promised him a bottle of slivovitz on her return. Either naive or lenient, he let her through the border. She rode through Harbin, Manchuria, to Tientsin, China, on another train. By then Rose had journeyed over nine thousand miles across almost the entire continent of Asia.[5] From Tientsin she used her small stock of money to take a boat to Japan, with stops at Hiroshima and Kobe along the way, until she finally arrived in Yokohama. There she waited for another two weeks until finding the *Ava Maru,* a cargo boat carrying peanuts that gave her steerage passage to the United States. As the *Ava Maru* crossed the Pacific for six leisurely weeks on its way to Seattle, "I never saw so many peanuts," she said later. "I thought I'd never get here."[6] She had carried dry black bread on board but was too sick for most of the journey to eat.[7]

Landing in Seattle on the Jewish holiday Purim after almost three months of travel with a face swollen from illness, Rose was met at the dock by the Hebrew Immigrant Aid Society, fed a kosher dinner, and given a hotel room. "When I came to this country," she said, "I thought I am the luckiest one in the whole world."[8] The HIAS put a tag around her neck with her name and "Ft. Dodge, Iowa," where her husband had settled

and was working as a junk peddler. They sent her on a train through Minneapolis to Fort Dodge, where the American Red Cross met her and reunited her with Isadore. Rose got pregnant right away and gave birth to a daughter, Frances. She didn't know a word of English.

Two years later, she still spoke hardly any English. Feeling isolated, the Blumkins decided they had to live in a place where Rose could converse in Russian and Yiddish, so they moved to Omaha, a town filled with 32,000 immigrants drawn by the railroads and packinghouses.[9]

Isadore rented a pawnshop. "You never hear of a pawnshop going broke," he said.[10] Rose stayed home and had three more children, Louis, Cynthia, and Sylvia. Sending fifty dollars at a time back to Russia, she brought ten of her relatives to America. Unlike her husband, she still didn't speak much English. "I was too dumb," she said. "They couldn't drill it in me with a nail. The kids teached me. When my Frances started kindergarten, she says, 'I'll show you what an apple is, what a tablecloth, what a knife.'"[11] But the store struggled and the family almost did go broke during the Depression. Then Rose took charge. I know what to do, undersell the big shots, she told her husband. "You buy an item for three dollars and sell it for $3.30. Ten percent over cost!" When the old-fashioned suits they carried weren't selling, Rose handed out ten thousand circulars all over Omaha, saying their store would outfit a man for five dollars from head to toe—underwear, suit, tie, shoes, and straw hat. They took in $800 in a single day, more than they had made the entire year before.[12] The store branched into jewelry, used fur coats, and furniture. Then Rose drove the department stores crazy when she started underselling them on new fur coats on consignment.[13] But she had a philosophy: "It's better to have them hate you than to feel sorry for you."

Soon customers started asking her for more furniture. At first she accompanied them to wholesalers and bought for them at ten percent over her cost. She noticed that, unlike pawnbroking, selling furniture was a "happy business," so in 1937 she borrowed $500 from a brother to open a store called Blumkin's in a basement near her husband's pawnshop. But the furniture wholesalers didn't want her as a customer, because their dealers complained that she was underselling them. So Rose went to Chicago, found one sympathetic man, and ordered $2,000 worth of merchandise from him on thirty days' credit. The time came due and she was short, so she sold her own house furnishings cheap to pay off the debt. "When my kids came home, they cried like somebody will die," she recalled. "Why I took away the beds and the refrigerator? The whole house, an empty house? I told them, they were so nice to me I can't stand it not to keep my promise."[14] That night she took a couple of mattresses from the store for the family to sleep on. "The next day I brought in a refrigerator and stove," she said, "and the kids quit crying." [15]

In school the other children picked on her son, Louie, for having a pawn-broker as a father. He found it painful but ignored their taunts, worked in the store after school, remained a good student, and became an all-American diver at Tech High while delivering sofas until midnight. His mother by now had established the Nebraska Furniture Mart and moved to larger quarters. In a side business, she sold and rented out Browning automatic shotguns during hunting season. Louie's favorite job was testing the guns by firing them into cinder blocks in the family's basement.[16]

By the time the United States entered World War II in 1941, Louie had enrolled at the University of Nebraska, but he dropped out to enlist in the service after only a few semesters, still just a teenager. During the war, he and his mother wrote each other every day. His mother was discouraged, and he urged her not to quit.[17] Because the big wholesalers refused to sell to the Nebraska Furniture Mart, Rose had become a furniture "bootlegger," traveling on trains all over the Midwest to buy overstock merchandise at five percent over wholesale from stores like Macy's and Marshall Field's. "They could see she knew what she was doing," says Louie. "They were fond of her and would say, here's this dining-room set that just came in. It wasn't easy or cheap, but she got it." Rose said, "The more [the wholesalers] boycotted me, the harder I worked."[18] You don't own the country, the country belongs to everyone, was her attitude.[19] She developed a lasting hatred of big shots. "When you're down they spit on you," she said. "When you start making some dollars they start paying attention. Phooey. Who needs them? Give me the middle class and I'll be happy." Her slogan was "Sell cheap and tell the truth, don't cheat nobody, and don't take no kickbacks."[20] When she

made a sale, she also told the employees, "Deliver it before they change their minds!"[21]

Louie won a Purple Heart at the Battle of the Bulge. After the war, he came straight home to Omaha in 1946 and went back to work. He learned everything about merchandising: buying, pricing, inventories, accounting, delivery, display. To Rose, nobody was as good as Louie. Ruthless with her employees, she screamed at them at the top of her lungs: "You worthless golem! You dummy!" But after his mother fired them, Louie would hire them back.

Four years later, the store was prospering, but then the Korean War began, and sales started to sink. Rose decided to give the business a boost by adding carpet to her line. She went to Marshall Field's in Chicago and told them she was buying carpet for an apartment building; they sold her three thousand yards of Mohawk carpet for $3.00 a yard. She retailed it for $3.95, half the standard price, although the fact that she had lied to Marshall Field's seemed to bother her for years afterward.[22]

Rose had managed to launch a successful carpet business by giving her customers a better price than the other carpet dealers. But carpet maker Mohawk filed a lawsuit to enforce their minimum-pricing policies —under which manufacturers required all their retailers to charge a minimum price—and sent three lawyers to court. Rose showed up alone. "I say to the judge, 'I don't have any money for a lawyer because nobody would sell to me. Judge, I sell everything ten percent above cost, what's wrong? I don't rob my customers."[23] The trial lasted only an hour before the judge threw the case out. The next day, he went out to the Furniture Mart and bought $1,400 worth of carpet.

But even though the Furniture Mart was selling carpet, furniture sales were depressed due to the war; Rose still couldn't pay her suppliers. Finally a friendly Omaha banker, Wade Martin, asked her what was wrong. "I don't know what I'm going to do," she said, "I can't eat the merchandise."[24] He loaned her $50,000 for ninety days, but Rose couldn't sleep worrying about how she was going to pay it back. She hit upon the idea of renting the Omaha City Auditorium and cramming it with sofas and dinettes and coffee tables and TV sets. Master merchandisers, she and Louie took out an ad in the paper that was strictly truthful, yet played on wartime scarcity.

This is It! The Sale of Sales! Shortages? Malarky! We can't eat 'em! We must sell 'em! We've been shipped so much merchandise this past 60 days, we have no warehouse room. Yes, we're overloaded, and how! We can't eat 'em and usually couldn't sell as much in six months. So we've staged the largest sale ever of its type ever held in this area…45,000 square feet filled with the most unheard of savings of famous brand merchandise.

It drew as many people as if the circus had come to town.[25] The Furniture Mart sold a quarter of a million dollars' worth of furniture in three days. Omaha now knew that Rose Blumkin and the Furniture Mart meant discount furniture, and "From that day, I never owed anybody a penny," she said.[26]

That same year, Isadore died of a heart attack. Rose and Louie kept on going. Gradually, "Mrs. B" was becoming a name that everybody knew in Omaha. People came into the store at every stage of their lives: when they got married, when they bought their first house, when they had a baby, when they got a big promotion. The Blumkins bought in huge quantities, cut expenses to the bone, and sold at ten percent above their cost. When a tornado tore the roof off their huge new West Side suburban store in 1975, she and Louie moved everything to their remaining downtown store without hesitation. "If you have the lowest price, they will find you at the bottom of a river," she said. They did. When a fire burned down the store, she gave the firefighters free TV sets.[27]

"Everything Mrs. B knew how to do, she would do fast. She didn't hesitate and there was no second-guessing. She'd buy five thousand tables or sign a thirty-year lease or buy real estate or hire people. There was no looking back. She just swung. You got about two inches outside the perimeter of her circle of competence, she didn't even want to talk to you about it. She knew exactly what she was good at, and she had no desire to kid herself about those things."

By the early 1980s, Rose and Louie Blumkin had built the largest furniture store in North America. Its three acres sold over $100 million of furniture a year under one roof, ten times the volume of stores of similar size.[28] From then on, sales grew every single year, in good economies or bad, whether Omaha grew or shrank.[29] The prosperous, established home furnishing retailers in Omaha who had been her competitors when she started had vanished. Other retailers came into the city and tried to compete with the Mart. Rose cased their showrooms, she and Louie created discount campaigns, and they broke them financially and drove them away. The Mart captured half the business in the metropolitan area—more than Sears, Montgomery Ward, Target, and all the other furniture and appliance retailers combined. Customers began to arrive from Iowa, Kansas, and the Dakotas.

"She grew her own town. Her retailing circle just kept spreading out farther and farther, and her parking lot was full of cars from a hundred or more miles away."[30]

Rose became known as Mrs. B, even to her family. She awoke at five a.m., ate only fruits and vegetables, and never touched liquor. A few gray hairs appeared around the edges of her lacquered black bun, but it stayed firmly in place as she raced around the store with the energy of a young woman, shouting or slicing her arms through the air for emphasis. As her bargaining position grew stronger, she brooked no sympathy for her suppliers. "Seven dollars? We go bankruptcy tomorrow should we pay that," she sniffed at one's demand.[31] The wholesalers who had formerly snubbed her now kneeled at her feet. She loved it. *"If you want to sell her twenty-three hundred end tables, she will know in a minute what she can pay, how fast she can move them…and she'll buy them from you. She'll wait until just before your plane is going to leave in some blizzard when you have to get the hell out of Omaha and can't afford to miss your flight. She will be very tough in dealing with you."*[32]

She was hard at it six and a half days a week. "It's mine habit," she said. In her mind, the showroom was her home. Her daughter, Cynthia Schneider, who decorated her mother's house, had arranged the furniture "just as you would find in the store" because "it's the only way we could be sure she would be comfortable."[33] The lampshades remained covered in plastic. Price tags dangled from some of the furniture. "I only use the kitchen and bedroom," said Mrs. B. "I can't wait until it gets daylight, so I can get back to the business."

On Sunday afternoons—the only time all week she wasn't at the store—she drove around town with Louie. "I go shop the windows," she said. "I plan an attack on the shopkeepers, thinking, 'How much hell can I give them?'"[34] All her work, she said, was inspired by her "diamond mother," who had run a grocery in Russia. She never forgot waking in the night to find her mother doing laundry and baking bread at three a.m. "She would carry a hundred pounds of flour twenty blocks for three cents' profit," she said. "It broke my heart."[35] And so, Rose's soft spot was refugees and immigrants. She sometimes put them to work in the bookkeeping department, telling them, "You don't need English to count."[36]

In 1982, the *Omaha World-Herald* interviewed her. She said that over the years the family had rejected several offers to buy her company. "Who could afford to buy a store this big?" One of the offers, she told Louie, was Berkshire's. Buffett had talked to her a few years earlier and she'd told him: "You'll try to steal it."[37]

A year later, Buffett heard that the Blumkins were negotiating with a company in Hamburg, Germany, that operated the largest furniture store in the world, a model similar to theirs. The Blumkins were selling! "You don't have to be very smart to figure out it's a good idea to go into partnership with Mrs. B," Buffett said.[38]

Maybe this time they were serious. Twenty-some-odd years before, on yet another occasion, Rose had summoned Buffett to her store downtown, indicating that she was thinking of selling. He really wanted to buy the Furniture Mart for Berkshire. He had walked in to find a short, squat woman lecturing a group of men lined up against the wall: her grandsons and sons-in-law and nephews. She turned to Buffett. " *'See all these guys next to me?' she said. 'If I sell it to you, you can fire them. These people are a bunch of bums, and they*

are all related to me and I can't fire them. But you can fire them. They're bums, bums, bums.'

"She went on like this for an hour, literally. The word 'bums' recurred many, many times." The relatives, long used to Rose, stood, impassive. *"Then she dismissed me. I had served my purpose."*

It was too bad; he would have liked to buy the store.[39]

"She thought the only one who was worth anything was Louie, and he was perfect." When she was pleased with Louie, as she usually was, she told him, "Oy, oy, oy, oy, it's beautiful, you did such a good job."[40]

If the Blumkins had talked themselves into selling, now was the time. Mrs. B had had two knee replacements, ceding most of the day-to-day operations to Louie. But she was still running the carpet department. "Something about carpet fascinated her," said Louie.[41] If somebody needed carpet for a nine-by-twelve room, she priced it out, added the tax, and gave the buyer a discount for being a good customer, all calculated within seconds in her head. And she still made occasional forays into the furniture department, often enough that the family could never be sure if even their own furniture was safe. Once, Rose called her daughter and told her to "empty the baby chest," because she had a customer. "When I made up my mind," she said, "I didn't want to wait for nothing. That's mine habit."[42] Nevertheless, it was Louie to whom Buffett talked. Louie said, "You should meet my sons Ron and Irv, who'll be running the store someday."

Buffett invited Ron and Irv to come to his office for a visit, and struck up a relationship with them. He sent Louie a letter, explaining his thoughts on the pros and cons of their selling to Berkshire. The Blumkins should be in no hurry to sell, he wrote, dealing with them as honestly as anyone possibly could. If *"you decide not to sell now, you are very likely to realize more money later on. With that knowledge you can deal from strength and take the time required to select the buyer you want."*

Then he laid out what he really had to offer. They could sell to another furniture company, he wrote, or to somebody in a similar business. But *"such a buyer—no matter what promises are made—usually will have managers who feel they know how to run your business operations, and sooner or later, will want to get into hands-on activity…. They will have their own way of doing things and, even though your business record undoubtedly will be far better than theirs, human nature at some point will cause them to believe that their methods are superior."*

Then there is *"the financial maneuverer, usually operating on large amounts of borrowed money, who plans to resell either to the public or to another corporation as soon as the time is favorable,"* he wrote. *"If the sole motive of the owners is to cash their chips and put the business behind them, either of these types of buyers is satisfactory…. But if the sellers' business represents the creative work of a lifetime and remains an integral part of their personality and sense of being, both of these types of buyers have serious flaws.*

"Any buyer will tell you that he needs you and, if he has any brains, he most certainly does need you. But a great many, for the reasons mentioned above, don't subsequently behave in that manner. We will behave exactly as promised, both because we have so promised, and because we need to."

Buffett explained that if he bought, he wanted the Blumkins to stay on as partners. If they looked back with regret, the deal would be a disappointment for everyone, including him. He told Louie that he would get involved in only two things: capital allocation and selecting and compensating the "top man."

Buffett had something else to offer. He was not German. The German company had offered well over $90 million, but to Mrs. B, who had traveled 9,000 miles across Asia to escape the pogroms, selling to a German company was anathema. The Blumkins agreed to sell the company to Berkshire, so Buffett drove out to the 200,000-square-foot store to make a deal. There he found the eighty-nine-year-old Rose gunning the motor of her three-wheeled golf cart and racing around the store, roaring at her employees, "You're all good for nothing! I wouldn't give a nickel for all of you!" while Louie and her three sons-in-law looked on.[43]

"I don't even want to take inventory," said Buffett. "I'll take your word, Mrs. B, whatever you say you got."

Mrs. B looked at her sons-in-law, who stood against a wall. One of them was taller than her by at least a foot. "Norman's been married to Frances forty-one years," she said. "Jerry's been married to Sylvia thirty-six years. Charles was married to Cynthia thirty-nine years ago. I told those boys, 'I don't take return merchandise!'"

Her daughters owned twenty percent of the stock and had sent their husbands to sign off on the deal. The sons-in-law were not dumb and knew that they'd get far more money from the Germans. *"And she snarled at them, Just tell me how much more you think you're going to get and I'll give it to you. She wanted to divide up the money and get them out of there so it would be Louie's company, and they stood there against the wall, quivering. They wanted to go. And then she said the price was fifty-five million dollars for ninety percent of the company."* Mrs. B had said, "I don't understand stock." She wanted cash. *"They stood there mute, but they were also thinking, as soon as this sale goes through, we get the money, we're getting the hell out of here.*

"She really liked and trusted me. She would make up her mind about people and that was that." Buffett knew she made decisions about everything once and for all and in the blink of an eye, so he wasn't taking much risk, but, *"I told Mrs. B after she signed, I said, 'If you change your mind on this it's okay with me.' I would never say that to any other seller in the world, but I just felt that this was just such a part of her, if there was any reason she decided she didn't want to do it after—I didn't want her to feel bound. And she said, 'I don't change my mind.'*

"When I was leaving, I told Louie, 'I'm terrible with accents. Sometimes I don't understand your mother perfectly; the last thing I want in the world is a misunderstanding with her.' And Louie said, 'Don't worry, she'll understand you.'

"After the deal was done, I said, 'Mrs. B, I've got to tell you something. It's my birthday today.'" Buffett was fifty-three. *"And she said, 'You bought an oil well on your birthday.'"*

The Blumkins had never had an audit, and Buffett did not ask for one. He did not take inventory or look at the detailed accounts. They shook hands. *"We gave Mrs. B a check for fifty-five million dollars and she gave us her word,"* he said.[44] Her word was as good as *"the Bank of England."* Buffett, however, still wanted to make sure that Rose had no regrets.

The contract was just over a page of Carnegizing. It began, "You own a hundred percent of the outstanding stock of Nebraska Furniture Mart, Inc. ('NFM') which operates a remarkably successful furniture and appliance retailing business…. Berkshire Hathaway, Inc. ('Berkshire') has long admired what you have accomplished together and hereby proposes to purchase from you ninety percent of such outstanding stock."[45] To announce the deal, he held a press conference and showed a video on the company's history. Mrs. B dabbed at her eyes as the film was shown.[46]

Buffett had not only found another unusual specimen to add to his collection of interesting personalities. Something about Mrs. B's indomitable will, history of hardship, and strength of character inspired awe in him.[47] "Dear Mrs. B," he wrote to her. "I have promised Louie and his boys that all members of the family are going to feel good about this transaction five, ten, and twenty years from now. I make you the same promise."[48]

Buffett had promised more than that. Mrs. B was used to operating in total control and privacy; she did not want Buffett to throw her financial dress up in the air and show her knickers to the world. He had promised her that the accounts of the Furniture Mart would not be separately reported when Berkshire Hathaway filed its financial statements with the SEC, as of course was legally required.

Buffett had no worries about getting a waiver from the SEC—or rather getting one of his employees to get the waiver. He was a likable boss who never lost his temper, never changed his mind capriciously, never said a rude word to anyone, never berated or criticized his employees, didn't second-guess people on their work,

and let them do their jobs without interference. He also operated on the assumption that if somebody was smart, they could do anything. Charlie Munger said of him, "Warren doesn't have stress, he causes it." Dale Carnegie said to give people a fine reputation to live up to, and Buffett had learned that lesson well. He knew how to Carnegize heroic accomplishments out of his people.

The gist of what he told his employees was something like: *"You're so good, this won't take you any time at all, and it won't cost anything to do. And, of course, you'll have it back to me in the next mail. Because you're just so damn great at what you do. It would take three people to replace you."*[49]

Verne McKenzie, who had only just finished mopping up the Blue Chip mess, was assigned the thankless task of convincing the SEC to grant an exception to its rules so that Mrs. B would not suffer the pains of an audit or of having to unveil her financial secrets to the shareholders of Berkshire Hathaway. He began to go through torture navigating the government's unsympathetic maze while Buffett offered blithe assurances that he could easily get this done.[50]

Buffett, meanwhile, had the happy job of diving into a new business and a new collection of people. He grew fond of Louie and "the boys" he started driving out to 72nd Street at eight-thirty in the evening when the store closed to go out to dinner with Louie, Ron, and Irv, talking for hours about furniture and merchandising. He started taking "the boys" and their wives on an annual vacation.

That fall the Buffett Group lurched across the North Atlantic in heavy seas on the *Queen Elizabeth II.* Some of Buffett's friends were shocked when told to send $125 in advance for tips and asked to bring tuxedos for several formal dinners. Joy Ruane was so intimidated by this new hauteur that she showed up with seventeen suitcases.[51] The food onboard the ship was "second rate," said one member, and the agenda a mix of the typical and the unusual: Wyndham Robertson, another *Fortune* reporter who was a member of the group, on investing during inflation; a session on stock options; George Gillespie and Roy Tolles on splitting up assets in a divorce—a subject on which views ran hot; Tom Murphy on the race between television networks CBS and Cap Cities; and Charlie Munger on Benjamin Franklin. Buffett spoke on using "game theory" to solve economic problems, based on pioneering economist Adam Smith's "invisible hand,"[52] in which people laboring to further their own interests acted collectively for the good of everyone.

All the while, Buffett delighted in telling his friends about the immigrant saga of Mrs. B and her wonderful Furniture Mart, the new money-churning prize he had just bought himself. However, he was almost upstaged by Ed Anderson, who made the prudish members of the group—the majority—fall out of their chairs when he explained his funding of human sexuality research and told with perfect earnestness the touching story of someone who had had a sex-change operation and kept his severed organ in a jar.

But the Buffett Group was falling out of its chairs, anyway. Those who were not below in their staterooms vomiting were imprisoned inside the saloon, where plates slid off the tables and ashtrays flew while the ship rocked and surged across the ocean in driving rain and gale-force winds and they heard story after story of the unsinkable Mrs. B. The Buffett Group was supposed to tour England for several leisurely days upon arriving, but five hours after they landed in Southampton, Rick Guerin was on a plane back to New York.

Nonetheless, through the howling wind, the homilies of Ben Franklin, divorce planning, and penises in a jar, one message came through, loud and clear: Buffett's affection and admiration for Rose Blumkin.[53] He had plans for her and enlisted Buffett Group member Larry Tisch in his behind-the-scenes machinations. In a virtuoso display of gratitude and showmanship, he had decided to turn the geriatric Rose into Cinderella.

With the help of Tisch, who was a trustee of New York University, he arranged it so that both Creighton University and NYU gave Rose honorary degrees.[54] At Creighton, the tiny Mrs. B was so overcome that she covered her face with her hands and cried on the stage, saying, "Oy, oy, oy, I never even believe it."[55] Then she spoke of America, the country that made her dream come true. Her advice to the graduating seniors: "First, honesty," she said. "Second, hard work. Next, if you don't get the job you want right away, tell them you'll take anything. If you're good, they'll keep you."[56]

In the city for the New York University ceremony, the family took care to keep her from seeing the price of her hotel room, for she had been to New York before and thought anything more than $75 for a hotel room was outrageous.[57] She had Louie take her to see Ellis Island and Delancey Street, but getting around the city was a struggle, for she felt cheated by the price of a taxi.[58] On the morning of commencement, Mrs. B was "robed" with great pomp and circumstance and received her degree alongside Senator Daniel Patrick Moynihan and the poet Octavio Paz.

Despite the august company of the NYU ceremony, when asked which of the two honorary degrees she preferred, Rose did not hesitate. It was Creighton's. They had bought carpet from her.

Soon after, Berkshire's auditors conducted the Nebraska Furniture Mart's first inventory. The store was worth $85 million. Mrs. B, seized with a severe case of remorse after she had sold it for a total value of $60 million, including the share retained by the family, told *Regardie's* magazine, "I wouldn't go back on my word, but I was surprised…. He never thought a minute [before agreeing to the price], but he studies. I bet you he knew."[59] Buffett, of course, could not have "known," not literally. But he had certainly known there was a whopping margin of safety in the price.

Nevertheless, he practically considered himself a member of the family by now. When Mrs. B turned ninety, the Furniture Mart organized a huge sale, taking out full-page ads for days in the local paper, as it did every year on her birthday. Buffett would tease her about the date of her birthday sales.

"She measured her birthday by the Jewish calendar, which moved around. I used to tease her about that; it really didn't fall on the same day every year. But I said that the way she moved it around was whenever she needed a little more business. Her birthday was quite flexible. She'd smile and look at me and say, 'Well, you don't understand the Jewish calendar.'"

Within two years, however, this fairy tale of a story turned ugly. The indomitable Mrs. B yelled at her grandsons Ron and Irv in front of the customers, calling them bums. As tough a life as she'd lived, and as hard as she'd had to work, who could know more about the business than she? Gradually—and understandably—"the boys" stopped speaking to her.

Finally, when she was age ninety-five, her grandsons overruled her on a carpet purchase and she exploded. It was the last straw. "I was the boss. They never told me nothing,"[60] she said, and quit. She also demanded $96,000 in unused vacation pay on her way out the door.[61]

But sitting at home alone, she acknowledged, was "awful lonely, not to do nothing. I go nuts."[62] In ominous newspaper interviews she referred to her grandsons as "dummies" and, shockingly, "Nazis."[63] She hinted at solo trips to the North Carolina High Point Market, the furniture industry's largest trade show. She suddenly arranged to have a warehouse she owned right across the street from the Furniture Mart refurbished. She held a "garage sale" in it, and cleared $18,000 in one day, selling "some of her own things."[64] A few months later, "Mrs. B's Warehouse" was grossing $3,000 a day before it officially opened.

Asked about the impending battle for customers, she snarled to the local paper, "I'll give it to them." When the paucity of parking spaces at her new store was mentioned, she pointed to the Furniture Mart's lot and said, "Park there…they won't notice." Soon she was embroiled in a fight with her grandsons over city parking ordinances. She put up a sign: "Their price $104, our price $80."[65] When Bob Brown on ABC's *20/20* program asked her about the Furniture Mart, she said, "I would it should go up in smoke. I like they should go down to hell…."[66]

Some time earlier, Buffett had created a saying. *"I would rather wrestle grizzlies,"* he said, *"than compete with Mrs. B and her progeny."*[67] Stuck wrestling grizzlies, Buffett acted as he always did when any of his friends' relationships broke down. He refused to take sides. Mrs. B thought that was disloyal. "Warren

Buffett is not my friend," she told a reporter. "I made him fifteen million dollars every year, and when I disagreed with my grandkids, he didn't stand up for me."[68] This was torture to Buffett, who couldn't bear conflict and broken relationships.

Louie, who could do no wrong in his mother's eyes, made no headway with Rose. "She figured she lost control of this place, and she blew her top," he says.

"He always treated his mother perfectly," Buffett says. *"It was the hardest thing in the world for her to accept that she was giving up control. And she was angry at the world for having to give up the thing that she loved most."*

After two years, Mrs. B's Warehouse, while still small, was growing at such a rate that pound for pound, it was trouncing the Mart. Finally Louie intervened again. "Mother," he said, "you've got to sell this thing back to us. There's no sense competing one against the other."[69] And so Rose called Buffett. She missed the Mart. She missed her family. She was lonely in her house, separated from her family. "I was wrong," she said; family meant more than pride and more than business. Mrs. B told Buffett that she wanted to come back. With a box of See's Candies under his arm and holding a huge bouquet of pink roses, Buffett went out to see her. He offered her $5 million simply for the use of her name and her lease.

He added one catch: This time she must sign a noncompete agreement, a contract designed so that she could never again compete with him. This was something he wished he'd done before. The absurdity of imposing a noncompete agreement on a ninety-nine-year-old woman was far from lost on him. Nevertheless, Buffett was realistic. The agreement was cunningly written to outlast Mrs. B. If she retired, or quit in a rage or for any other reason, no matter how old she was, for five years afterward she could not compete with Buffett and her relatives. Even if she lived to be 120 years old, Buffett was taking no chances. *"I thought she might go on forever,"* he says. *"I needed five years beyond forever with her."*

Mrs. B still could not read or write English. Nevertheless, she signed the noncompete, which had been explained to her, with her characteristic mark. The truce made headlines. *"And then I made sure she never got mad,"* Buffett says. He set about flattering his new employee unctuously to make her so happy that she would never, ever quit and start the clock running on her noncompete.

On April 7, 1993, the Greater Omaha Chamber of Commerce put her in the inaugural class of its business hall of fame, alongside Buffett, Peter Kiewit, and several others. Then Buffett, knees trembling slightly, got up on a stage at the Highland Club and sang in public, for the first time in his life, to Mrs. B on her hundredth birthday. He also donated a million dollars to a local theater she was renovating.

Nobody could believe it. Warren Buffett had given away a million dollars.

And through all of the hosannas, none of it ever went to Rose Blumkin's head. Not even the million dollars that Warren Buffett had given her. She felt she owed everything, all her good fortune, to this country for the opportunities it had given her. At family events, she insisted that her favorite song, "God Bless America," be played every time, sometimes even more than once.

"I don't think I deserve it," she said, over and over, of the accolades.[70] But she did.

45

Call the Tow Truck

Omaha • 1982–1989

Once disembarked from the *QE II,* Susie Buffett listened to her husband's tales of Mrs. B or whatever his latest fixation might be from a distance, just like everybody else. She and Warren talked nearly every day on a special "hotline" installed in her apartment. When the phone rang, she jumped up instantly. "That's Warren!" she would say, and run away from whatever conversation she was having with a friend to answer it. He was still her number one obligation. But unless he needed her, her life was under her own control.

Susie had moved out of her minuscule apartment at Gramercy Tower and into another cubbyhole on the Washington Street cable-car line with a splendid view over the bay. She chose the building because Peter was living there with his wife, Mary, and her two daughters. He was still pursuing his musical career and had started renting out studio time to pay the bills, while writing music for anyone who would pay him—student films, the production company Video West. [1]

In the past few years, Susie had lost both of her parents. Doc Thompson had died in July 1981; Dorothy Thompson followed only thirteen months later. Susie was so close to her parents that their deaths left a wrenching hole in her life. Afterward, her hyperkinetic tendencies did not abate; if anything, they increased. Warren had stopped taking her for granted, and his desire to please the woman he now idolized more than ever found expression partly through the money he gave her. In her younger days, Susie's idea of a shopping spree had been buying a basketful of greeting cards.[2] That had gradually expanded to an annual attack on Bergdorf's shoe department. Warren's tightfistedness began to let up in light of the unspoken but inexorable reality that he now controlled the money by Susie's grace and favor. At any time she could take it back and use the money herself. Torn between two fur coats, she wanted to know, "Why do I have to choose?" The answer was, she didn't.

But mostly the looser purse strings fueled Susie's penchant for generosity to a ragtag collection of colorful friends that grew and grew. Nobody ever left the beguiling Buffetts. Even Peter's college girlfriend had gone to work for Susie as a secretary several years earlier, despite Susie having been the one to break off the relationship before it became an engagement after Peter started having second thoughts. The rising tide of old friends, family dependents, and her new San Franciscan entourage would have overwhelmed almost anyone, but Susie Buffett was not just anyone. Unleashed from the confines of Omaha, with buckets of money at her disposal, she sprang to life as if powered by magic, like the Sorcerer's Apprentice's broom. How much do you need for Christmas? Warren said. Oh, seventy-five thousand would do it, Susie replied.[3] He wrote the check.

Her special cause was artists, creative types, anyone who had potential or whose talents she felt were not being recognized. She became the sponsor of artist Edward Mordak, who painted the kind of brightly colored contemporary canvases she preferred and wove brilliant feathery wall hangings. But of all the people she aided, her nephew Billy Rogers was her greatest challenge. A brilliant jazz guitarist, Rogers had played with different groups, backing up B. B. King and achieving his greatest success performing as one of the Crusaders. He was married, with a son, and living in Los Angeles. But he had bounced around the West Coast for several years, never staying clean for long before relapsing. Susie remained an optimist and refused to give up on him. No matter how squalid his life when he acted out his addiction, she always treated him like another son.

By 1984, when AIDS had claimed over two thousand American victims and infected two thousand more, Susie had found her next great cause among the gay men of San Francisco. With the disease's transmission poorly understood and badly communicated, gay-bashing turned to hysteria,[4] AIDS was referred to as the "gay cancer" people said that God must be punishing gays for their sexual deviancy.[5] Already a mother figure to many men whose families had rejected them, Susie now once again dared to cross a social line, as a rich married woman who acted as a refuge for gay men during the early years of the AIDS crisis.[6]

Susie's own life in San Francisco was something of a high-wire act, requiring a sure sense of balance. She had remained Mrs. Warren Buffett publicly for six years now while privately teetering on the fence of divorce and remarriage. Some who were aware of her situation thought Susie chose to stay in this limbo as a way to please everyone else and avoid having to figure out what she herself wanted. Susie, they thought, was a

woman who could never speak her own truth. Yet her life history suggests otherwise: that she preferred never to give all of herself to anyone, that she would rather divide her attention among more than one relationship. Susie—who had reason to be confident in her ability to manage people—on occasion could be overconfident. As the circle of those who knew Susie's secrets grew, it became harder for her to control what the two main men in her life knew themselves about the state of their relationships with her.

Susie and her former tennis coach spent part of 1983 and early 1984 traveling in Europe, where she made new friends, but also ran into people she knew from Omaha. Suddenly, her two lives had collided on the Continent. In March 1984, she came to Omaha for Leila's eightieth birthday party; during her visit she admitted to Warren for the first time that part of the reason she had moved to San Francisco involved another man. Somehow, however, Warren wound up with the impression that this relationship was in the past, and that it involved someone she had met after she left Omaha.[7]

Even while confessing, therefore, Susie kept her secrets. Yet she had finally committed herself to one course. By telling Warren, she had chosen his side of the fence. She would never leave him. They would stay married.

And Warren did not kill himself when he found out—as if that had ever been likely. But he did lose what appeared to be ten pounds almost overnight. Among the several shocks he had to absorb, he now knew that Susie had been spending some of the money he had dispensed to her with such a liberal hand in ways he would never have approved—had he known. His fondness for the Laguna house, never strong to begin with, also diminished noticeably.

At Leila's birthday party, he looked thin, but behaved as he always did with the family gathered around. At home, there was no change in his relationship with Astrid, who knew nothing of what had transpired. At Berkshire headquarters, he sealed himself inside his office, protected by Gladys, and immersed himself in work. He never told anyone what he felt about the end of the beautiful illusion that had been his marriage. Instead, the bathtub memory went to work.

* * *

The dream of sustaining some remnant of Berkshire Hathaway was also dying, even though the ancient spinning frames still puffed and wheezed. Looms that looked like they were made from salvaged scrap metal, antique sewing machines, and old locomotive wheels creaked wearily in the weaving room. Only four hundred workers remained. Most were of Portuguese descent, with specialized skills, many in their fifties or older, some speaking limited English, some deaf from the roar of the machines. Buffett could not squeeze another ounce of rayon out of the equipment without buying new spinning frames and looms. That was the end; in 1985 he pulled the plug on Berkshire's life support.[8] The equipment would have cost as much as $50 million to replace. Put to the auction block, it sold for $163,122.[9]

The workers asked for severance above their contract guarantee and got a couple of months' extra pay. They wanted to see Buffett to discuss it with him. He said no. They thought he was heartless. Probably, he couldn't face them.

"Through no fault of their own, they were in a position of being a horse when the tractor arrived. The free market did them in. If you're fifty-five and you speak Portuguese, and you've been working on a loom for thirty years and your hearing is shot, you've had it. And there wasn't any answer. When you talk about retraining people—it's not like they'll all go become computer technicians by taking junior-college courses or something like that.

"But you've also got to deal with the people that are displaced. The free market does all kinds of good things in this country, but we need a safety net. Society is getting the benefits, and it should pick up the tab." Warren, of course, was not going to pick up the tab because society lacked a proper safety net. Whatever pension the workers were entitled to under their terms of employment, that was exactly what they

would get. *"The market isn't perfect. You can't rely on the market to give every single person a decent living."*

By the time he shut it down, the textile business had become a flyspeck on the holding company that bore the Berkshire Hathaway name. Buffett's plan was that insurance would drive that Berkshire Hathaway—the one that swallowed up whole businesses like the Nebraska Furniture Mart. During the 1970s, he had cobbled together a diverse group of insurance companies and loaded them onto the back of National Indemnity to give it an extra kick. It was a brilliant strategy, but for a number of years, they had mostly been going wrong.

First, Jet Jack Ringwalt had retired. Then, the "Omni affair," when National Indemnity was swindled by a crooked agent, had threatened to explode into losses that could have cost the company $10 million or more. Although the final tab had settled into a couple of miserable millions, this was only the first of a series of problems with the insurance companies. Buffett had bought a small home-and auto-insurance company in the early 1970s that promptly skidded into a ditch, until a new manager towed it out. That was to be the pattern with all the rest of Buffett's insurance investments—straight into the ditch, then call the tow truck. It would take a mighty winch and a heavy engine to dig some of them out of the muck. Berkshire had gotten involved in California workers' compensation insurance—coverage that pays for lost wages and health benefits when people are injured on the job. By 1977, one of its two workers' comp companies was in a full-blown "disaster," with its manager taking kickbacks from brokers.[10] Buffett's protégé Dan Grossman, sent to L.A. to save it, quickly realized that he did not understand insurance, a complex business that is rougher than it sounds. (Verne McKenzie, for example, had once led a trip to personally repossess an agent's house and car.[11]) Turning your controller into a repo man was not the typical CEO's management style, but in Buffett's world, after all, a smart person could do anything. Faced with a wrecked company to salvage, Grossman's solution, therefore, was to call the tow truck and hire an experienced manager, Frank DeNardo, who began to straighten things out. Buffett larded praise on DeNardo in Berkshire's annual report.

Buffett had also started a reinsurer—a company that insures other insurers—as a sort of experiment. He hired George Young, a gentle, professorial man, to run it. Young seemed to know what he was doing, and money came in the door, but too many losses flowed back out. Buffett tried to work with Young to solve the problem, then Hail-Maryed Grossman to New York on a rescue mission. It was "kind of vague," says Grossman. "He said, go talk to Lloyd's of London, go find some reinsurance deals that you can do." Grossman figured out fast that reinsurance was a business for specialists. Given no instructions, he camped out at Ruane, Cunniff and started to learn investing.

Another of Buffett's insurance ventures was the creation of the Homestate Companies—a batch of little insurers scattered among a number of different states. The idea here was that somebody wearing the title of president would make customers feel better served than the same person as branch manager of a big national insurance company. In 1978, Buffett wrote that these companies had done a "disappointing" job. The customers liked doing business with a president, but the big national companies had certain other advantages, such as experience. The Homestate Companies needed new management. Buffett had no plans to solve this problem himself. Nor did his standard management technique of taking out all the cash and raising prices release a flood of profits in insurance (although it was a good starting point). His friend Tom Murphy liked to tell him that he "delegated to the point of abdication."[12] Now he put Verne McKenzie in charge of one of these companies, until McKenzie, recognizing that he did not understand insurance either, threw up his hands and backed out.[13] Meanwhile Frank DeNardo, at age thirty-seven, had died tragically from a heart attack. Now the workers' compensation business in California was rudderless again. Buffett snatched Grossman back from New York to run it.

Grossman found himself a company president at age twenty-six, in a business where fraud prevention is more important than sales. He faced customers with decades of experience cheating insurers. His calls for help only splattered against Buffett's Teflon pleasantries, adding to the already considerable mess. Grossman was one of many who learned that it was his job to figure it out. Bright and hardworking, he felt "totally unqualified" to run an insurer at his age and level of experience, and explained that he was in over his head. Buffett said he had confidence in him and was sure that he could rise to the occasion. Instead, the stress overwhelmed him, and his marriage fell apart. Finally, he told Buffett he simply couldn't handle it, moved to

the San Francisco Bay Area, and began to manage investments on his own.[14]

Buffett, who hated to let anyone go, urged him to remain in the Buffett Group. Grossman was well liked, and various members of the group called to try to dissuade him from leaving. But he felt he was not strong enough to maintain his autonomy within the entanglements that bound people to the Buffetts—Susie with her crowd of dependent worshippers, Warren with his network of supportive protectors. Knowing what he was giving up, he cut everyone off. "He divorced the Buffetts," said one former friend, who understood why but thought it was too bad.

Now headquarters had one fewer person to support the growing insurance empire. Verne McKenzie was so overworked figuring out how to slide the Furniture Mart into Berkshire's numbers without showing Mrs. B's financial underwear that he rarely saw Buffett. During Grossman's peripatetics, Buffett had installed Mike Goldberg, a former McKinsey consultant who had once worked with Rickershauser at the Pacific Coast Stock Exchange, in Grossman's onetime office. A wiry Brooklynite of sardonic intensity and the subtlest humor, Goldberg turned out to have the so-called insurance gene, which is made up of one part knack for handicapping mixed with two parts dark skepticism about human nature. Thus he was able to teach himself the business—just as well, since it had been out of character for Buffett to spend time on one protégé, let alone two.

With Goldberg's arrival, the polite, restrained Midwestern way of doing things at headquarters changed abruptly. Managers that Goldberg decided were only ninety percent of grade were swiftly sent packing. As the packing cases flew out the doors of the failing Homestate Companies, Goldberg gained a fearsome reputation. He brought in new people for workers' compensation and reinsurance. Some survived, some wearied of the high-amp atmosphere and left, and others didn't make the cut.

Goldberg's method was to call his managers and talk to them at length every day, quizzing them mercilessly to understand their attitudes and to reinforce how they should think about the business. The value of Goldberg's hands-on approach in an atmosphere of chaos was hard to overstate. One former manager referred to it as working in a "Socratic wind tunnel." People learned a lot from Goldberg if they could withstand the stress. He was the type, an ex-employee said, who "yelled when hailing a cab."

Throughout the early 1980s, Goldberg worked against the tide to right the ship. Unlike the disappointing Hochschild-Kohn or the pathetic Berkshire Hathaway—businesses that Buffett simply should not have bought—for the first time, perfectly decent businesses were unaccountably floundering on Buffett's watch. He had confidence that Goldberg would do what was necessary. However, the pleasant but unskeptical George Young, who ran the reinsurance division, had been taken by unscrupulous brokers, a problem endemic to the industry.[15] Buffett by now had a clear-cut pattern: He rationalized to avoid the confrontation of firing losing managers. He gave criticism to his managers indirectly, often by withholding, sometimes resources, but especially by withholding praise. As the number of things he owned expanded, he used that technique ever more frequently. Trying to parse his shareholder letters for news about the insurance companies, one had to be Sherlock Holmes attending to the curious incident of the dog in the night-time—the dog that didn't bark.[16] Having lavished individual insurance managers with praise in the 1970s, Buffett gradually ceased to cite by name any of the insurers or their managers, except the superbly performing GEICO and National Indemnity.

Buffett did not stop writing about the insurance industry, however. In fact, in the 1984 letter he wrote about it more than ever. But he lumped all of Berkshire's insurance companies together and took the blame for their poor performance himself, without naming a single company or a single manager who had been responsible for the hemorrhage of losses. He went on like this for an excruciating seven pages, citing the "walking dead" competition and the losses coming back to haunt him like bill collections for the man who was "buried in a rented suit." Although it was appropriate for him, as CEO, to feel accountable, he seemed almost to be trying to forestall criticism through self-flagellation.

And he was writing these things even as he knew that, underlying the terrible numbers, substantial improvements were already taking place. By the next year, the insurers began coming together into the

powerful engine that Buffett had envisioned. They started to produce the cash flows that would be the raw material to fuel the rest of his career.

By 1985 the unique business model that Buffett had designed began rising to its potential. No other business resembled it, and this structure would enable the dramatic compounding effect that propelled the shareholders' wealth.

Then there came the moment when Goldberg found the capstone to the structure. Afterward, the numbers would gush blacker than an oil well.

One day, says Buffett, *"I was down here on a Saturday, and Mike Goldberg walked in with Ajit."*

Ajit Jain, born in 1951, had an engineering degree from the prestigious Indian Institute of Technology in Kharagpur and had worked for IBM in India for three years before getting his business degree from Harvard. Ajit was skeptical and hard-nosed like Buffett and Munger. Nobody would ever put one over on Ajit. Buffett saw himself in Ajit, who quickly rose in his esteem to share Mrs. B's pinnacle. *"He had no background in insurance. I just liked the guy. I would love to glue myself to Ajit. You can argue that Ajit was when we discovered the electric light. It was huge. It was huge compared to anything we'd ever done at Berkshire."*

Buffett claimed that he "added nothing" to the quality of Ajit's decisions. But he was far from a passive participant in those phone conversations, and if there was any job at Berkshire Hathaway he would have liked to do himself, it was Jain's. He loved the handicapping aspect of the deals, the tough negotiating in which temperament mattered and huge sums of money were won or lost based on pure intellect and will. This supremely rational business in which psychology gave the right person an edge drew together all of Buffett's skills. Buffetting by proxy through Ajit was as close to the old "under-the-counter" market way of trading as he could get these days, and he loved doing it.

With Buffett glued to Ajit, and the chaos sorted out, Goldberg's job was finished. He soon moved over to start a credit and real estate business for Berkshire.

Ajit did not seem to need much sleep; when he got up around five or six a.m., he apparently asked himself, "Who's awake? Who can I call?" His colleagues learned to be prepared for lengthy predawn talks about reinsurance deals on Saturdays and Sundays. He and Buffett followed a routine of nightly ten o'clock phone calls, which Ajit maintained in every time zone throughout a ceaseless routine of globe-trotting.

Ajit had arrived at an opportune time. Insurance prices were peaking. He took an ad in *Business Insurance* magazine: "We are looking for more—more casualty risks where the premium exceeds one million." The ad combined the showmanship and sharp thinking that were Buffett hallmarks. "We didn't have a reputation, we didn't have the distribution system," says Buffett. But business came pouring in the door after that ad, and Ajit did deals, deals, deals.[17]

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Rubicon

Omaha • 1982–1987

The 1980s would be an era of deals, deals, deals—most financed with debt, debt, debt. The Dow hadn't budged in seventeen years.[1] Grinding inflation had decimated corporate profits, yet companies had eiderdowned their payrolls so that every white-collar worker but the lowliest rested on a comfy cushion stuffed with flunkies. Executives treated themselves and their employees to golf courses and hunting lodges.

They dribbled away much of their earnings in sloppy operations, loose engineering, and unthinking bureaucracy.[2] By the early 1980s, stocks were on sale like polyester suits. Then, under Federal Reserve Chairman Paul Volcker, interest rates, recently an astronomical fifteen percent, started to fall as inflation came under control. Astute money men noticed the bloated state of American business. With debt now cheap, would-be buyers of a company could use the company's own assets as collateral for a lender to finance its purchase—like getting a hundred percent mortgage on a house. The buyer didn't have to put up any cash; it cost no more to buy a huge company than to set up a lemonade stand.[3] A rush of financiers returned to Wall Street, intent on slaughtering the fatted calves using the carving knife of borrowed money. The merger boom had begun.

"We were taking earnings or value that should've gone to the shareholders and bringing it unto ourselves," said Jerome Kohlberg, one of the first buyout financiers. "Corporate America was responsible for a lot of this. You have to ask the question, Why didn't they do it [cost-cutting] themselves?"[4]

In 1984, the burner under managements turned up another notch when "junk bonds" became respectable. More politely called "fallen angels," these were the bonds of companies like the Penn Central Railroad that were climbing out of the bankruptcy dustbin or teetering on its edge.[5] Only occasionally did a company issue junk bonds on purpose, paying a high interest rate because it was considered a dicey credit risk. Junk bonds were sort of shady, a little desperate.

The people who worked in the junk-bond departments on Wall Street were junk peddlers or ragpickers—the few bankers who scouted for hag-ridden executives willing to issue junk bonds, and "distressed debt" analysts who spent their careers grading papers in the gloomy school of hard knocks, looking over picked-clean balance sheets and scuttlebutting bankruptcy lawyers, angry investors, and desperate managements.

Everything changed when Michael Milken, chief junk peddler of the upstart investment bank Drexel Burnham Lambert, rose to become the most influential man on Wall Street through a simple proposition: that while individual "fallen angel" junk bonds were risky, buying a bushel of them was *not,* because on average, the higher interest rate more than compensated for the risk. In other words, junk bonds in the aggregate had a margin of safety—like cigar butts.

Soon, money managers no longer looked as though they were playing roulette with investors' money by putting high-paying junk bonds in their portfolios. Indeed, it quickly became more respectable to issue *new* junk bonds—quite a different thing. Another short hop and takeovers of strong, well-financed companies could be financed with junk, turning formerly sound balance sheets into debt-riddled Swiss cheese. Corporate raiders armed with junk bonds, intent on "hostile takeovers" whose goal was to pluck a company clean, suddenly stalked companies that had been waddling along complacently. Their targets lunged toward any buyer who might conceivably be more friendly; in the end the target company was usually sold to someone or another and financially gutted. The bankers' fees became so staggering that, instead of waiting for deals to present themselves, the bankers went a-huntin' on their own, flipping through the ranks of the S&P 1000 the way Buffett had once used his *Moody's Manuals* to find cigar-butt stocks. This orgy of mergers that often took place with the consent of only one party riveted the public; the clashes of titanic egos filled the daily papers. Michael Milken's annual junk-bond conference, the Predators' Ball,[6] lent its name to the entire era.

Buffett scorned the way these deals transferred riches from shareholders to managers and corporate raiders, helped by a long, long line of toll-taking bankers, brokers, and lawyers.[7] "We don't do hostile takeovers," he said. The deals of the 1980s repelled him above all because they were loaded with debt. To those reared during the Depression, debt was something to be used only with a careful eye for the worst-case scenario. In the 1980s, however, debt became mere "leverage," a way of boosting profits using borrowed money. "Leverage" arrived at the same time that the U.S. government began running large deficits courtesy of "Reaganomics"—the "supply-side" idea that cutting taxes would ultimately increase tax revenues by stoking the economy. Fierce debates raged among economists over whether tax cuts could actually pay for themselves and, if so, by how much. The economy was heating up at the time from consumer spending, also fueled by debt; John and Jane Q. Public had gradually been accustoming themselves to buying everything

with credit cards, building up a balance that they would never pay off until from their plastic death did them part. The Depression-era culture of hoarding and saving had turned turtle, into a culture of buy now, pay later.

Buffett still paid cash and chose the role of the white knight in takeovers. Early one morning in February 1985, while he was in Washington, Tom Murphy called and woke him to say he had just bought the ABC television network.

"You've got to come and tell me how I'm going to pay for it," Murphy said.[8] ABC was caught in the crosshairs of the corporate raiders. The company had hung a lure out to see whether Murphy would save it by doing a friendly deal—and Murphy bit.[9]

"Think about how it will change your life," Buffett said. Murphy was a devout Catholic who never wasted money on anything—and this was *Hollywood.* Buffett may well have been thinking about the incongruity between the modest, retiring Murphy and the glamorous world of television, as Murphy believed[10]—but Buffett's next move signaled that he wouldn't mind such a change himself. Or so it seemed, since he recommended to Murphy that Cap Cities/ABC recruit a "gorilla" investor who could protect it if its turn came to be gobbled up by the corporate raiders. To no one's surprise, Murphy suggested that this investor should be Buffett himself. Likewise, Buffett had no trouble quickly agreeing to spend $517 million of Berkshire's money for fifteen percent of Cap Cities.[11]

By saving Cap Cities from prospective raiders, Buffett had now become a player in the biggest media deal in history; Berkshire's share alone was six times the size of the Nebraska Furniture Mart. At a total of $3.5 billion, he and Murphy had also paid a fancy price for ABC,[12] which was struggling and had slipped to third place in the ratings. "The network business is no lollapalooza," Buffett would later say.[13] Yet he had watched the awesome ascendance of television from its infancy and knew well both its power to shape public opinion and its business potential. The combined assets were formidable: Together ABC and Cap Cities would own nearly a hundred publications, twenty-four radio stations, twelve major TV stations, and more than fifty cable systems.[14] Buffett wanted Cap Cities/ABC so much that he was willing to leave the board of the *Washington Post,* as was required by FCC regulations because of the potential conflict between the two companies' television interests.[15] He did so, however, knowing that Kay and Don Graham would need only permission, not encouragement, to call on him informally for advice. He went to bed that night a happy man.

The year 1985 would be a humdinger. During the same week that Buffett's investing yielded Berkshire $332 million *from a single stock*—General Foods, when it was taken over by Philip Morris—*Forbes* caught on to how rich he was and added him to its list of America's 400 richest people. At the time, it took $150 million to make that list. But Buffett, at age fifty-five, was now a billionaire, one of only fourteen ranked by *Forbes*. His favorite childhood book could be retitled *One Thousand Ways to Make a Million Dollars.* The cascading, compounding slew of pennies from weighing machines and other ventures had never, in his boyhood dreams, looked like *this.*

Berkshire Hathaway, its first few shares originally bought for $7.50, was now trading at more than *$2,000 a share.* But Buffett refused to "split"[*29] the stock into smaller pieces, citing the way brokerage fees would multiply needlessly along with the number of shares. While this was certainly true, there was also no denying that this policy made Berkshire more like a partnership—or even a club, and the high stock price drew attention to Berkshire like nothing else.

His fame ascended with Berkshire's stock price. Now when he entered a room of investors, an energy filled the air as all attention gravitated toward him. The purchase of ABC by Cap Cities did indeed begin to change his life, adding a Hollywood sheen to the elephant-bumping of Kay Graham. Meeting soap opera impresario Agnes Nixon at a dinner with Murphy, he got invited to do a gig on the show *Loving.* A lot of CEOs would have feigned a mortal illness before doing something so undignified, but Buffett loved doing his cameo on *Loving* so much that he showed off the paycheck from his show-business debut. It was all of a piece with the Buffett who loved to play dress-up and would soon be appearing costumed as Elvis at his friends' parties.

This same Buffett reveled in putting on black tie to take Susie Jr. to a state dinner at the Reagan White House, where Sylvester Stallone and fashion designer Donna Karan were seated at the same table. Jetting off to the Academy Awards with Astrid—who made a rare public appearance, proudly wearing a thrift-shop gown—he dined with Dolly Parton. But Buffett, who found Parton likable as well as hugely attractive, failed to make the lasting impression on her that he managed with most other women.

At the Kay Parties, where Graham always seated him between the two most important or interesting women, he did better. Still, he had never grown to love small talk, and found it challenging—or just plain tiresome.

"The truth is, you're sitting next to two people that you've never seen before and you're never going to see again. It's kind of strained, no matter what. Whether it was Babe Paley, or Marella Agnelli, or Princess Di, Kay always saw in these women what she aspired to be. I didn't have the faintest idea what to talk about. Princess Di was not as easy to talk to as Dolly Parton. What do you say to Princess Di—'How's Chuck? Anything new at the castle?'"

Still, by 1987 a billionaire commanded a certain cool respect; Buffett had become something of an elephant himself, no longer so dependent on Graham for invitations to bump. And Graham no longer needed him so much as a regular escort, for their mutual obsession had cooled. Now her attraction to powerful men had heated up her longtime friendship with the recently widowed, paper-dry, encyclopedically brilliant, alpha-squared Robert McNamara, who had been defense secretary during the Kennedy and Johnson administrations. McNamara was the onetime architect of the military's "war of attrition" strategy; many people considered Vietnam "McNamara's War." It was also he who had ordered the study of U.S. government involvement in Southeast Asia known as the Pentagon Papers—the very same Pentagon Papers that had catapulted Graham and her newspaper into journalism textbooks for their courageous reporting. Before long, McNamara became Graham's "Husband Number Three," as one of her board members referred to him. True to form, she put him on the *Post* board. From the beginning, McNamara and Buffett "were not the best of friends," though over time, their relationship resolved into a sort of mutually respectful truce.

Buffett could handle people like McNamara through diplomacy; a greater—and unanticipated—problem was the physical danger he found himself in because of his fame. Two men arrived at Kiewit Plaza, one waving a chrome-plated replica of a .45, intending to kidnap Buffett and hold him for $100,000 ransom, which the kidnapper later explained would be a "loan" to buy a ranch.[16] The security guards and police handled it, and Buffett, unharmed, started jokingly referring to the man as "Billy Bob" to Gladys. He would not hear of hiring a bodyguard, for that would restrict his cherished privacy and freedom, but he did have a security camera installed, along with a three-hundred-pound security door to shield the office.[17]

Strangers called often now, insistent, wanting to speak with him. They'd only take a minute, nobody else could help them, they knew he'd be interested in what they had to say. Gladys told them in crisp tones to write a letter spelling out their requests.[18] Buffett started getting letters asking for Berkshire stock—in exchange for advice to take hawthorn herbal remedies—or requesting funding to create an unspecified new type of ice cream. People wrote to say: Mr. Buffett, I am tired of living an average life. I have a burning desire to be rich. You have money, give me some.[19] And a lot of letters said, I've gotten in over my head with credit cards or gambling debt.[20]

Buffett the collector kept so many of the letters that they began to fill up his files. Many of them confirmed the way he thought of himself, as a role model, as a teacher. Occasionally, something touched him and struck him as real. If he thought it would do some good and he had time, he wrote a debtor or gambler back with firm but kind insistence that they take responsibility for their problems. As if they were his kids, he suggested they buy time to bail themselves out by telling their creditors how broke they were and negotiating easier payment terms. He always added a little soliloquy about the perils of too much debt—especially debt from credit cards, the junk bonds of the personal-finance world.

* * *

His own kids had received little training about how to handle large sums of money, but one thing they had learned was the peril of debt—a fortunate lesson, because their father was almost as inflexible about requests for money from them as he was from strangers. He was still willing, however, to make financial deals with family members to manage their weight.

With her shoulder-length brown bob and heart-shaped face, the thirty-something Susie Jr. could pass for twenty-five, but she struggled with a few extra pounds. Her father made a deal in which, for losing a certain amount of weight, she could shop for clothes for a month, no limit. The only catch was that she had to pay him back if she regained the weight in a year. This deal was better than the proverbial win/win: It was also a no-risk deal in which Buffett won either way. He was out the money only if Susie Jr. did as he wanted and kept the weight off. She got the clothes. So Susie Jr. dieted, and when she got down to the goal weight, Big Susie mailed credit cards to her daughter with a note—*"Have fun!"*

Susie Jr. dared not spend a dime at first, frightened by the thought of asking her father to pay the bills. Bit by bit she worked herself up, until finally she shopped in the blind daze induced by having unlimited money for the first time in her life, tossing the receipts unread each day on the dining-room table, too afraid to add the total. "Oh, my God!" said her husband, Allen, each night as he returned home to his wife's mounting pile of sales slips. After thirty days, she added them up. She had spent $47,000.

"I thought he was going to die over how much it was," she says of her father. Susie Jr. went for reinforcement. Her mother was powerful, but she knew who had even more leverage with Warren when it came to money. While Kay Graham barely knew Peter and was an "unreachable" figure to Howie—he was always afraid he would sit in the wrong place or break something in her house—Susie Jr. had developed a warm, close relationship with her.[21] She called Graham, who agreed to parachute in as backup if needed.

But since a deal was a deal, Buffett paid the bill without strong-arming. Then he immediately started polling his friends in shock, asking, "If your wife spent that much, what would you think?" The men all agreed it was outrageous, while their wives agreed that he should count his blessings because it could have been *so* much worse.[22]

The deal that Buffett made with Howie concerning the rent for Howie's farm was similarly linked with weight; the amount rose and fell with Howie's poundage. Warren thought his son should weigh 182.5 pounds. When Howie was over the limit, he had to pay twenty-six percent of the farm's gross receipts to his father. When he was under, he paid twenty-two percent. "It's the family version of Weight Watchers," Howie said. "I don't mind it, really. He's showing he's concerned about my health. But what I do mind is that, even at twenty-two percent, he's getting a bigger paycheck than almost anybody around."[23] So Warren couldn't lose on this deal either. He got either more money or a thinner son.[24] All of this was classic Buffett. As one of his friends put it, "He's the master of win/win…but he never does anything that isn't a win for him."

Peter and his family had moved from their apartment on Washington Street, in the building where his mother now lived, to a house on Scott Street. Peter got a gig writing music for some fifteen-second animated spots for a new cable channel, MTV. Success led to a business scoring commercials. Even though he was the least financially savvy of the Buffett kids, he had managed to tether his Berkshire stock to his musical talent and thus establish a career and a life that freed him from the money games. But by the mid-eighties, Peter pondered his father's homily: "Nobody goes to the supermarket to buy Howie Buffett's corn." Nobody ever hired an ad agency because of Peter Buffett's music either, he realized. If he wanted to pursue his own art, he needed to free himself from corporate lackeyship, whatever the cost. While he continued doing commercial work, he cut a demo record and signed with the New Age label Narada to do an album.[25]

His mother, who still dabbled in music, was often at Peter's studio; she liked to sing with Billy Rogers when he was in town from Los Angeles. Billy was trying to get his life in order; he wrote his uncle saying that he had "blown many chances" in life but was now ready for the next time that opportunity knocked.[26] He asked Warren to help him with a down payment on a house that he wanted to buy as a new start for his family. The letter was carefully prepared and showed unusual financial sophistication, considering that it was written by a jazz guitarist who was a heroin addict. Big Susie would not dare give out such a large sum herself without

Warren's permission, but her hand was clearly behind it.

In a lengthy but kindly worded reply, Buffett said no. He quoted Munger's saying that liquor, drugs, and debt are the main things that cause "smart fellows to go astray." Borrowing the down payment for a house, he said, provided no margin of safety.

"If you are going to drive 10,000-pound trucks across a bridge repeatedly, it is well to build one that can withstand 15,000-pound loads rather than one that can withstand 10,001 pounds…. It is a big mistake to have lots of financial obligations and no cash reserve…. Personally, I have never used more than twenty-five percent borrowed money in my life, including when I had only $10,000 and had ideas that made me wish I had $1,000,000." [27]

Rogers soon sent another letter, chaotically handwritten, again asking for a loan, saying he was "pulling his life together piece by piece" and "trying to get custody of his son."[28] Again the answer was no. Buffett not only had boundaries of iron when it came to money but was realistic about relying on the promises of addicts. Susie, who always wanted to believe the best of people, was too soft-hearted to give up on anyone. She would not defy Warren to give Rogers the money, but she continued to support her nephew and his troubles with large amounts of energy and small handouts from time to time.

Susie's work as a "mobile Red Cross unit," as one family member put it, had expanded after she had made her confession in 1984 and she and Warren reached a new understanding about their marriage. That year, she had suffered a painful abscess between the spleen and pancreas, and was hospitalized for exploratory surgery. Her doctors could find no cause, and she recovered without incident. Her self-image was as the healthy person whose role was to care for others, so she ministered to her usual collection of the ill, the needy, and the heartsick. She also threw masquerade parties in her tiny place on Washington Street, tried to learn to ride a bicycle, and gathered her impromptu family of gays and strays at large dinner parties and Thanksgiving celebrations. She wore jeans and sweatsuits and put away the wigs she had once worn, her hair now a lighter brown, released into a corona around her beaming face.

Warren—who would give his wife almost anything she asked for these days—let her expand and redecorate the Laguna house, which had never stopped looking like the rental it once was. Tom Newman, Rackie's son, introduced Susie to Kathleen Cole, an interior designer who was also an exercise instructor and former nurse, and together they began to give it the bright-colored contemporary look that Susie favored. Cole also took over the job of buying gifts for Susie's ever-expanding list.[29] Susie and Warren continued to spar over money, but these spats had become almost scripted; Susie's allowance expanded at an accelerating pace—although never at quite the rate she wanted. She could afford Cole's services and those of a full-time secretary to manage her schedule, which freed her to extend herself further while also spending more time with the family. Howie remained the magnet who drew more of her support and energy than anyone else. She commuted back and forth to Nebraska to help with this and that and to lavish affection on Howie's children, her adopted granddaughters Erin, Heather, Chelsea, and Megan, and grandson Howie B. When Susie Jr., who lived in Washington, D.C., became pregnant with her first child, Big Susie began making more trips to the East Coast.

Susie and Allen needed to remodel their little Washington house, which was all staircases, had a kitchen the size of a baby blanket, and an inaccessible back garden. She had plans drawn up for a new kitchen big enough to accommodate a table for two, with a back door opening to the garden. It would cost $30,000. She considered how to pay for it, since she and Allen didn't have the money; she knew better than to ask her billionaire father to give it to her. Fortunately, her pregnancy had activated the one loophole in her weight deal with her father. Buffett was not getting his $47,000 back. Nevertheless—despite her father's belief that clothing holds its value better than jewelry—she and Allen could not hock her new wardrobe to pay for the kitchen. So she asked her father for a loan.

"Why not go to the bank?" he asked, and turned her down. He explained that a football player on the Nebraska football team shouldn't inherit the starting quarterback position from his father, a former star quarterback. Unearned position, inherited wealth drove Buffett crazy, offended his sense of justice, and

disturbed his sense of the universe's symmetry. But applying such strictly rational rules to his own children was a chilly way to look at the world. "He won't give it to us on principle," said Susie. "All my life, my father has been teaching us. Well, I feel I've learned the lesson. At a certain point, you can stop."[30]

Before long, her doctor confined Susie Jr. to bed rest for a tedious six months. She lay in a tiny bedroom watching a small black-and-white television set. An appalled Kay Graham brought over meals prepared by her chef and sat at Susie's bedside, then shamed Buffett into buying his daughter a larger color TV. When Big Susie caught wind of what was happening, she dropped everything and flew in to care for her daughter, spending months in Washington. As soon as she saw the condition of the place, she turned it upside down and renovated it. "It's just terrible that Warren won't pay for this," she complained. But everything she was spending had been dunned out of him. Their endless money game enhanced Warren's reputation for thriftiness, and Susie's reputation for generosity. Since they had both signed up for this arrangement, obviously they both wanted it this way.

With the birth of Emily in September 1986, the Buffetts now had eight grandchildren and stepgrandchildren in three cities: San Francisco, Omaha, and Washington, D.C. As the Emerald Bay house renovation reached habitability, Susie slowed the pace to a steady tinkering and began to use it as a base to entertain friends and, especially, her grandchildren. In San Francisco, she hop-scotched into an apartment in Pacific Heights, close to Peter's new home on Scott Street. This large condominium on Broadway sat at the top of four dizzying flights of stairs and had a glorious view over the bay from the Golden Gate Bridge to Alcatraz.

Now she hired her decorator, Kathleen Cole, as a personal assistant to help manage her life. "You can just work part-time," she told Cole, "and you'll have all this time for your two kids." The next thing Cole knew, she was working for the Buffett Foundation, planning Susie's travel arrangements, overseeing entertainment, and hiring and managing a staff that included housekeepers, errand-runners, and friends employed partly as a favor. The gift-giving grew every year: Cole ordered catalogs, chose gifts, wrapped them, shipped them, kept track of what was coming in and going out, and maintained records so that nothing was ever duplicated.[31] She found herself managing two houses, including the ongoing renovation of the Laguna house and the two-year renovation project that Susie had launched on her new place on Broadway. Cole's husband, Jim, a fire-fighter, stepped in as a favor to work as Susie's part-time handyman. Another friend, Ron Parks, a CPA whom Susie had met while traveling in Europe, managed the disbursements and taxes—out of kindness and without pay—for what he jokingly called "STB Enterprises," or, as another friend put it, Susie's "payroll and give-away roll."[32] Parks was the partner of Tom Newman, her friend Rackie's son; Susie had become close friends with the couple. Newman, a chef, occasionally helped out with her parties, but mostly tried unsuccessfully to improve her nutritional style. By now, Susie's paid and unpaid staff had far outgrown that at Berkshire Hathaway headquarters.

While the renovation of Susie's new Broadway apartment was under way, Billy Rogers, apparently drug-free, moved from Los Angeles to San Francisco and started collaborating with Susie on an album. One day when he was working on music at Peter's studio, he borrowed twenty dollars from Peter and left around lunchtime. After a couple of days with no word from Rogers, Susie, Peter, and Mary Buffett decided to go to his rooming house and check on him. They found his door locked from inside. When he didn't answer their knock, they were worried enough to go to the manager to ask her to let them in. As they waited in the hallway for her to return with the key, they could hear drifts of music from other apartments. "Oh, say that you'll be true, and never leave me blue, Suzie Q," came from one doorway. From another, *"Que sera, sera,"* floated through the air. Whatever will be, will be.

Finally the manager arrived and unlocked the door. The three of them stepped in to see Billy sitting cross-legged on the floor with his back to the door. He was tied off and a needle stuck out from his forearm beneath the tourniquet. Nearby, an LP spun silently on a turntable. The last song on the album had finished playing two days before. Billy was stone dead. Susie covered her eyes and began to wail as Peter took off down the hallway to find a pay phone so he could call an ambulance.[33] The autopsy revealed that Billy had died of "acute cocaine and morphine poisoning."[34]

"He was such a sweet guy," says Buffett, *"and he killed himself with drugs."* The shock of losing a family

member in a sordid overdose at a rooming house would reverberate for years. When Rogers died, Doris says, "That was the worst sorrow that Susie ever went through." She had not only lost the nephew she had loved like a son. After so many years, all her efforts to try to save him had come to naught. She had never suffered such a defeat.

* * *

Warren admired his wife's desire to rescue people and her skill in helping those in need. Billy Rogers was only one of many she had befriended through the years. Some of them had done damage to themselves through terrible choices, others were victims of bad luck—though few came to such a terrible end. As "Mama Susie," she made it her mission to help people one at a time. Warren called her a "retailer." The emotional opening-up of this one-on-one work was beyond him. Rather, he chose to leverage his brains and money to affect as many lives as possible; he considered himself a "wholesaler." His way of connecting to people was through his role as a teacher. But he was no longer teaching his courses at the University of Omaha, and his most attentive students, Kay and Don Graham, had become thoroughly Buffettized. His most important seminar, the Buffett Group meetings, took place only in odd-numbered years. Buffett enjoyed teaching so much that he actually went looking for an audience.

In 1980, he agreed to testify in a major antitrust lawsuit against IBM, the most famous case of its era. Another witness, Arjay Miller, a fellow *Post* director, testified reluctantly; he found being grilled by lawyers, before a judge who impressed him as hating IBM, a miserable experience. Buffett, however, enjoyed showing his expertise; he relished putting it to the test before lawyers. He put his all into the testimony. "He's a great testifier," says Miller.[35] Buffett was especially pleased that his testimony became part of the record in a landmark case in American business history.

Buffett's earliest teachings had been preserved in the letters he had written to his former partners in the 1960s, letters that were photocopied and passed hand to hand around Wall Street until the copies became blurry and hard to read. Ever since 1977, with the help of Carol Loomis, his unusual chairman's letters to his shareholders in the Berkshire annual reports—carefully crafted, enlightening, eye-opening letters—had grown more personal and entertaining by the year; they amounted to a crash course in business, written in clear language that ranged from biblical quotations to references to Alice in Wonderland and princesses kissing toads. Much of their acreage was devoted to discussions of matters other than Berkshire Hathaway's financial results—how to think about investing, the harm the dismal economy was doing to business, how businesses should measure results. These letters brought out both the preacher and the cop in Buffett, giving people a sense of him as a man. And the man was charming, he was attractive; his investors wanted more of him. So he gave it to them at the shareholder meetings.

The earliest meetings had taken place in Seabury Stanton's old loft above the New Bedford mill. Two or three people with Ben Graham connections came because of Buffett. One was Conrad Taff, who had taken Graham's class. Buffett wanted his shareholder meetings to be open and democratic, as unlike the old Marshall-Wells meeting as possible. Taff peppered Buffett with questions, and Buffett enjoyed it, as if he were sitting in an armchair at a party with people gathered round listening to his wisdom.

The meetings carried on like this for years, with only a sprinkling of people showing up to ask questions, even after the meetings moved to Nebraska and took place in the National Indemnity cafeteria. Buffett still enjoyed them, despite the sparse attendance. As recently as 1981, only twenty-two people attended. Jack Ringwalt actually had to recruit employees to stand in back of the National Indemnity cafeteria so as not to embarrass his boss with an empty room. When the meeting was adjourned after fifteen minutes of routine legalizing and half a dozen perfunctory questions, the stenographer whom Conrad Taff had flown in to take notes for him had written nothing down. She looked frantically at Verne McKenzie, who just shrugged.[36]

Then in July 1983, coincident with the Blue Chip merger, a little crowd of people suddenly showed up at the cafeteria to hear Buffett talk. He answered as many questions as they asked in his plain-spoken, unpretentious style: He was teaching, and he came across as democratic, Midwestern, and refreshing, just as

he did in his letters to the shareholders.

Buffett spoke in metaphors the audience understood, using the emperor's new clothes and the bird in the hand versus the two in the bush. He told plain-spoken truths that other businessmen would not acknowledge, and routinely burst the bubble of corporate double-speak. He developed a memorable way of fabulizing life and businesses into instructive tales that rang familiar—Rose Blumkin as the Cinderella of Berkshire Hathaway, or Ajit Jain as Buffett's Rumpelstiltskin, who ran his reinsurance division by spinning straw into gold. His style was so engaging and his meaning so illuminating that word began to spread. The way he expressed himself made people see old problems in new ways. The meetings took on a quality associated with almost everything that Buffett touched. They began to snowball.

In 1986, Buffett moved the meeting to the Witherspoon Auditorium of the Joslyn Art Museum. Four hundred people came, then five hundred the next year. Many of them worshipped Buffett, who had made them rich. In between questions, some people read poems of praise from the balcony.[37]

Buffett's anomalous success, and the fame it had brought him, was putting him on the road to becoming a brand just as surely as Skippy peanut butter. Inevitably, therefore, he became the target of a group of finance professors who were at that very moment attempting to prove that someone like Buffett was a mere accident who should not be paid attention, much less worshipped.

These academics had started by positing the reasonable but not necessarily obvious truth that if a whole lot of people were trying to be better than average, they would become the average. Paul Samuelson, an MIT economist, revived and circulated the 1900 work of Louis Bachelier, who observed that the market is made up of speculators who cohere into a whole that operates according to a "random walk."[38] A professor from the University of Chicago, Eugene Fama, took Bachelier's work and tested it empirically in the modern-day market, which he described as "efficient." The scrabbling efforts of legions of investors to beat the market made those very efforts futile, he said. Yet an army of professionals had sprung up who charged everything from modest fees to the soon-to-be-legendary hedge-fund cut of "two-and-twenty"(two percent of assets and twenty percent of returns) for the privilege of managing an investor's money and trying to predict the future behavior of stocks. Stockbrokers raked their cut from all the individuals who were encouraged by TV shows and magazines to pick the next hot stock and compete with the pros. Every year, the sum of all these people's labors added up to exactly what the market did (less the fees).

Charles Ellis, a consultant to professional money managers, blew the whistle on the market's pickpockets in 1975 in "Winning the Loser's Game," an article that showed that professional money managers failed to beat the market ninety percent of the time.[39] Ellis's work also had disheartening implications for individual investors and the readers of books and attendees of seminars like "Invest Your Way to Millions." He said the best way to make money in the market was to simply buy an index of the market itself without paying the high fees that the toll-takers charged. Over the long term, the market tended to outperform bonds, so investors would receive the payback from the entire economy's growth. So far, so good.

The professors who had discovered this efficient-market hypothesis (EMH) kept hacking away at their computers over the years, however, to turn these ideas into an even tighter version, one that had the purity and rigor of physics and mathematics, one to which there could be no exceptions. They concluded that *nobody* could beat the average, that the market was so efficient that the price of a stock at any time must reflect every piece of public information about a company. Thus, studying balance sheets, listening to scuttlebutt, digging in libraries, reading newspapers, studying a company's competitors—all of it was futile. The price of a stock at any time was "right." Anybody who beat the average was just lucky—or trading on inside information.

Most people who actually worked on Wall Street could cite examples of stocks that had traded inefficiently.[40] But it was certainly true that exceptions to the efficient market had grown rarer—and the people who exploited them generally had a steady pulse and deep knowledge based on long study, and the willingness to put in full-time concentrated effort. Yet the proponents of EMH denied all exceptions, and to them Buffett—the most visible exception of all—and his lengthening and increasingly acclaimed record

became an inconvenient fact. They saw him as like a man who could sail blindfolded through a sea of icebergs: in theory impossible; it was only a matter of time before he would drown. The "random walkers"—Samuelson at MIT, Fama at the University of Chicago, Michael Jensen at the University of Rochester, William Sharpe at Stanford—kicked around the Buffett conundrum. Was he a one-off genius or a freak statistical event? A certain amount of derision was heaped on him, as if such an anomalous stunt were not worthy of study. Burton Malkiel, a Princeton economist, summed the whole thing up by saying that anyone who outperformed the stock market consistently was no different from a lucky monkey that had a winning streak at picking stocks by throwing darts at the *Wall Street Journal* stock listings.[41]

Buffett loved the *Wall Street Journal;* he loved it so much that he had made a special deal with the local distributor of the paper. When the batches of *Journal*s arrived in Omaha every night, a copy was pulled out and placed in his driveway before midnight. He sat up waiting to read tomorrow's news before everybody else got to see it. It was what he did with the information the *Wall Street Journal* gave him, however, that made him a superior investor. If a monkey got the *Wall Street Journal* in its driveway every night just before midnight, the monkey still could not match Buffett's investing record by throwing darts.

Buffett made sport of the controversy by playing with a *Wall Street Journal* dartboard in his office. The efficient-market hypothesis invalidated him, however. Furthermore, it invalidated Ben Graham. That would not do. He and Munger saw these academics as holders of witch doctorates.[42] Their theory peddled bafflemath, teaching a whole generation of students something disprovable. They offended Buffett's reverence for rational thinking and for the profession of teaching.

Columbia held a seminar in 1984 to celebrate the fiftieth anniversary of *Security Analysis.* Buffett was by then so identified as Ben Graham's intellectual heir that Graham himself had asked him to revise and update *The Intelligent Investor*. The two were not able to agree on certain things—principally Buffett's belief in concentration versus Graham's devotion to diversification—and in the end Buffett wrote only the introduction. Nevertheless, Columbia invited Buffett to represent the Grahamian point of view at the seminar, which was actually more of a debate over EMH. Convening in the auditorium at Uris Hall, his opponent on the panel, Michael Jensen, stood up and said he felt like "a turkey must feel at the beginning of a turkey shoot."[43] His role in the morality play was to cast withering comments at the antediluvian views of the Grahamian value investors. Some people could do better than the market for long periods, he said. In effect, if enough people flip coins, a few of them will flip heads over and over. That was how randomness worked.

Sitting in the first row alongside Buffett, the frail, aged David Dodd leaned over and whispered, "Take his pants off, Warren."

Buffett had spent weeks preparing for this event. He'd anticipated the coin-flipping argument. When he got up for his turn, he said that while this might be so, the row of heads would not be random if all the successful coin-flippers came from the same town. For example, if all the coin-flippers who kept flipping heads came from the tiny village of Graham-and-Doddsville, something specific that they were doing must be making those coins flip heads.

He then pulled out a chart with the track record of nine money managers—Bill Ruane; Charlie Munger; Walter Schloss; Rick Guerin; Tom Knapp and Ed Anderson at Tweedy, Browne; the FMC pension fund; himself; and two others.[44] Their portfolios were not similar; despite a certain amount of coattailing in the early years, they had largely invested on their own. All of them, he said, came from the village of Graham-and-Doddsville, had been flipping straight heads for more than twenty years, and for the most part had not retired and were still doing it. Such a concentration proved statistically that their success could not have come by random luck.

Since what Buffett said was obviously true on its face, the audience broke into applause and lobbed questions at him, which he answered gladly and at length. The random-walk theory was based on statistics and Greek-letter formulas. The existence of people like Buffett had been waved away using bafflemath. Now, to the Grahamites' relief, Buffett had used numbers to disprove the absolutist version of the efficient-market

hypothesis.

That fall, he wrote up "The Superinvestors of Graham-and-Doddsville" as an article for *Hermes,* the magazine of the Columbia Business School. Firing a flamethrower at the edifice of the EMH, this article did much to cement his reputation among investors. And over time, the random walkers revised their argument into "semi-strong" and "weak" forms that allowed for exceptions.[45] The one great service EMH would have performed, if anybody listened, was to discourage the average person from believing they could outwit the market. Nobody except the toll-takers could object to that. But the tendencies of humankind being what they are, EMH became de rigueur in business school classrooms, yet the number of individual investors and professional money managers who assumed that they were smarter than average only grew, the toll-takers kept taking their cut, and the market went on as before. Thus the main effect of "The Superinvestors of Graham-and-Doddsville" was to add to the growing legend, even the cult, that was building around Warren Buffett.

Meanwhile, EMH and its underpinning, the capital asset pricing model, drove extraordinary and deep roots into the investing world; it launched a view of the stock market as an efficient statistical machine. In a reliably efficient market, a stock was risky not based on where it was trading versus its intrinsic value, but based on "volatility"—how likely it was to deviate from the market average. Using that information and newly unleashed computing power, economists and mathematicians started going to Wall Street to make more money than they ever could in academia.

Knowing every stock's volatility allowed investment managers to shape and carve portfolios using stocks of greater and lesser volatility built around a core list of stocks that made up a near-replica of the market index and acted as ballast in the middle. Knowing a stock's volatility allowed portfolio managers to pair up stocks and arbitrage them while considering their "betas" (the Greek letter assigned to volatility) to refine these bets.[46] Arbitrage was the idea behind a "hedge fund" in its simplest form: Its manager sold a group of stocks short to help cushion results if the market went down.[47] That was less risky than buying a stock or bond outright.

But to make big money on arbitrage—buying and selling two nearly identical things to profit from their difference in price—required scaffoldings of debt, in which more and more assets were sold short to buy more and more assets on the "long" side.[48] This expansion of leverage from hedge funds and arbitrage was related to the rise of junk bonds and takeovers occurring at the same time. The models that supported the argument for leveraged buyouts using junk bonds were, like the models used by arbitrageurs, variations of the efficient-market hypothesis. Leverage, however, was like gasoline. In a rising market, a car used more of it to go faster. In a crash, it was what made the car blow up.

This is why Buffett and Munger considered defining risk as volatility to be "twaddle and bullshit," as Munger would later put it. They defined risk as not losing money. To them, risk was "inextricably bound up in your time horizon for holding an asset."[49] Someone who could hold an asset for years could afford to ignore its volatility. Someone who was leveraged did not have that luxury—leverage costs; moreover the lender's (not the borrower's) time horizon defines the length of the loan. Thus a risk of leverage is that it takes away choices. The investor may not be able to wait out a volatile market; she is burdened by the "carry" (that is, the cost) and she depends on the lender's goodwill.

But betting on volatility seemed to make sense when the market rose as predicted. When enough time passes and nothing bad happens, people who are making a lot of money tend to think it is because they are smart, not because they are taking a lot of risk.[50]

Throughout these profound changes in Wall Street's ways, Buffett's own habits had changed little.[51] What still made his pulse race was buying a company like Fechheimer, which made prison-guard uniforms. People like Tom Murphy had to worry about whether they would be targeted by corporate raiders wielding junk bonds, but Berkshire Hathaway was impregnable because Buffett and friends of Buffett owned so much of its stock; his reputation made Berkshire a fortress where others could shelter. Berkshire had made $120 million

on Cap Cities/ABC in the first twelve months it owned the stock; now the very mention that Buffett had bought a stock could, all by itself, move its price and revalue a company by hundreds of millions of dollars.

Ralph Schey, the head of Scott Fetzer, an Ohio conglomerate, got his company into a jam by trying to take it private in a leveraged buyout. With its stable of profitable businesses, from Kirby vacuums to the World Book encyclopedia, Scott Fetzer made appealing prey, and corporate raider Ivan Boesky quickly intervened to make a bid of his own.

Buffett sent Schey a simple letter saying, "We don't do unfriendly deals. If you want to pursue a merger, call me." Schey leaped at the proffer, and $410 million later, Berkshire Hathaway owned Scott Fetzer.[52] Two and a half years after buying the Nebraska Furniture Mart, Buffett had bought a company eight times its size. For the first time, the CEO of a public—rather than private—company had approached Buffett because he would rather work for Buffett than work for (or be fired by) someone else.

The next to recognize the power of Buffett's reputation was Jamie Dimon, who worked for Sanford Weill, the CEO of the brokerage firm Shearson Lehman, an American Express subsidiary.[53] American Express wanted to sell its insurance arm, Fireman's Fund, to Weill in a management buyout. Weill had already recruited Jack Byrne to leave GEICO and run Fireman's Fund. Dimon approached Buffett to invest his money—and his reputation—in the deal.

Despite their friendship, Buffett was not sorry to lose Byrne. After repairing GEICO's woes, the perpetually itchy Byrne had embarked on a series of acquisitions and entered into new business lines. Buffett wanted GEICO to concentrate on a sure thing, its core business. Furthermore, he had hired a new chief investment officer for GEICO, Lou Simpson, a retiring Chicagoan who had a distaste for rapid trading and expensive growth stocks. Buffett had added Simpson to the Buffett Group right away, and by now Simpson had become the only person besides himself whom Buffett trusted to invest in other stocks—he allowed Simpson to manage all of GEICO's investments. But Simpson and Byrne acted like brothers who fought and made up. Periodically, Simpson tried to bolt; Buffett lured him back. Without Byrne, keeping Simpson would be easier.

Nonetheless, Buffett knew that Byrne was a powerful moneymaker for any business he touched. "Never let go of a meal ticket" was Buffett's verdict when asked to invest in the Fireman's Fund deal. American Express decided to cut Weill out of the deal, however, and unload Fireman's Fund in a public offering, with Byrne as CEO. To keep Buffett on the menu to attract investors, it offered Berkshire a sweetheart reinsurance deal. Buffett took the deal, and became an informal adviser to Byrne and his board. Weill, feeling double-crossed, blamed Buffett. He went on to buy Travelers Insurance and build it into a small empire, but by some accounts carried a grudge against Buffett from then on.

From American Express to Sandy Weill, however, the financial world now understood the power of Buffett's name. At this point, Buffett was tending to so many major investments and advising so many managements that he was either an actual or de facto board member of Cap Cities, Fireman's Fund, the Washington Post Company, GEICO, and Omaha National Corp. And now he reached a turning point, the moment when he had to consider whether to cross the Rubicon.

Buffett had for some time played a dual role. He ran Berkshire Hathaway as if he still managed money for his "partners"—albeit without collecting any fee. He wrote them letters explaining that he made decisions based on personal criteria; he set up the shareholder contribution program, a personal solution to the problem of corporate giving; he refused to split the stock, had never listed it on the New York Stock Exchange, and considered the shareholders tantamount to members of a club. "Although our form is corporate, our attitude is partnership," he had written—and meant it.

At the same time, he enjoyed living the life of a major-company CEO. He served on board after board; he bumped with the biggest elephants. He took pride in the way politicians, journalists, and other CEOs sought out his knowledge and advice. More recently, his clout on Wall Street had become so great that entire deals—important deals—turned on whether he would participate. Above all, he was now so attached to Berkshire that it had become a virtual extension of himself.

The loosely defined dual role he was playing had so far suited him and his shareholders. Now, however, a decision faced him that required him to choose—he could either run a de facto partnership or continue his role as a major-company CEO. But he could no longer do both.

The reason was taxes. Berkshire was already burdened with corporate income taxes, a cost the partnership had not faced. On the other hand, Buffett charged his Berkshire partners no "fee" to manage their money. That was a good deal (for everyone but Buffett) or at least the shareholders' loyalty suggests they saw it that way. Now, however, in 1986, Congress passed a major tax-reform act that, among other things, repealed what was called the General Utilities Doctrine. Formerly, a corporation could sell its assets without paying any taxes as long as it was liquidating and distributing the assets to the shareholders. The shareholders would be taxed on their gain, but the gain would not be taxed twice.

Once the General Utilities Doctrine was repealed, any liquidation of a corporation and distribution of its assets would result in a tax on the corporation's profits and another tax on the shareholders upon distribution. Since the double tax added up to a staggering amount of money, closely held and family corporations all over the country rushed to liquidate themselves before the act went into effect. Buffett, who regularly said in his shareholder letters that Berkshire had gotten so large that its money was a barrier to investing success, could have distributed its assets, then raised a more manageable sum—still in the billions—set up a new partnership, and started over investing within weeks (collecting his fee again, to boot). With $1.2 billion of unrealized profits on Berkshire's balance sheet, had Buffett liquidated Berkshire, he could have given his shareholders a total tax avoidance of more than $400 million and the chance to start over in a partnership free of the corporate double tax.[54] But he didn't.

Buffett wrote a lengthy dissertation on taxes in his annual letter, in which he addressed this topic and dismissed the idea of liquidating out of hand: *"If Berkshire, for example, were to be liquidated—which it most certainly won't be—shareholders would, under the new law, receive far less from the sales of our properties than they would have if the properties had been sold in the past."*[55]

The Warren Buffett of old would not have sneered at an extra $185 million in his own bank account and the chance to start over earning fees without the corporate income tax—which is what his decision not to liquidate Berkshire Hathaway in 1986 cost him personally. But ordinary greed no longer drove his decisions—for this cost him far more than any other shareholder. His long-standing attachment to Berkshire held him so firmly in its grip that he gave up the option of keeping Berkshire as a virtual partnership. Otherwise, he would have liquidated without a second's hesitation.

Instead he had crossed the Rubicon and chosen the role of being the CEO of a major corporation, like Procter & Gamble or Colgate-Palmolive, one that would continue to exist after he was gone.

This company, Berkshire, with its disparate parts, was hard to value. Munger liked to joke that Berkshire was the "Frozen Corporation," since it would grow endlessly but never pay a penny in dividends to its owners. If the owners couldn't extract any money from their money-making machine, how much was that company really worth?

But Buffett was growing Berkshire's book value far faster than his shareholders could have accumulated such wealth themselves, and he had the scorecard to prove it. Moreover, it was a long-term scorecard, far more comfortable for him than the year-to-year pressure of beating the market's bogey. By shutting down the partnership, he had freed himself from that tyranny; in fact he no longer presented numbers in a fashion that allowed someone to calculate his investing performance from inception.[56] Besides, being CEO of the Frozen Corporation was fun. He got to own a newspaper in Buffalo; he got to use his shareholder letters as the editorial column in a newspaper. Yet even though he had now officially joined the CEO club, he had no desire to acquire most of their habits—visiting five-star resorts, collecting wine or art, buying a yacht, or acquiring a trophy wife. *"I've never seen a trophy wife yet that looks like a trophy,"* he would later say. *"To me they always look like a booby prize."*

One day in 1986, however, he called his friend Walter Scott Jr., a down-to-earth hometown boy who had

worked for Peter Kiewit Sons', Inc, all his life, just like his father before him. Scott was businesslike yet refreshingly open and relaxed. He had succeeded Peter Kiewit, then made his reputation during a federal highway bid-rigging scandal that threatened Kiewit's existence by disqualifying it from bidding on any contracts that got government funds. By forthrightness, "groveling," and thorough reforms, Scott led the company through a long restoration—a model for dealing with the government in a corporate life-or-death situation.[57] He was such a trusted friend of Buffett that Katharine Graham stayed in the Scotts' apartment on the few occasions that she visited Omaha.

"Walter," Buffett asked, "how do you justify buying a private airplane?" Buffett knew that Kiewit had a fleet of private jets because it was always having to ferry its employees to remote construction sites.

"Warren," said Scott, "you don't justify it. You rationalize it."

Two days later, Buffett called back. "Walter, I've rationalized it," he said. "Now, how do you hire a pilot and maintain a plane?"

Scott offered to let Buffett piggyback the maintenance of his proposed new jet on Kiewit's fleet, and Buffett went off and sheepishly bought a used Falcon 20—the same type of plane that Kiewit employees flew—as Berkshire's corporate jet.[58] It gave him an extraordinary degree of privacy, as well as control over his travel schedule—privacy and control over his time ranking in the top handful of things that Buffett cared most about on earth.

Of course, buying a private jet conflicted with another of the things he cared most about: not wasting money. Buffett had never lived down an incident in an airport in which Kay Graham had asked him for a dime to make a phone call. He pulled out the only coin he had, a quarter, started to bolt off to get change, but Graham had stopped him by teasing him into letting her waste fifteen cents. So, for Buffett, it was like leaping in one bound over Mount Kilimanjaro to go from justifying twenty-five cents for a phone call to rationalizing two pilots and an entire airplane to carry him around like a pharaoh on a litter. But he was doing a fair amount of rationalizing this year, having just rationalized giving up $185 million in tax avoidance as well.

Still, it bothered him—the jet so plainly contradicted his upbringing and self-image. His tortured rationale to his former roommate from Penn, Clyde Reighard, explained with great earnestness and obvious embarrassment, was that the plane was going to save him money by getting him around faster.[59] Next he started to make fun of himself to the shareholders, saying, "I work cheap and travel expensive."

The plane ushered in a new phase of his life. Buffett clung tenaciously to his corn belt—even while wearing black tie—yet fraternized ever more often with hoity-toity sosoity, as CEO of the Frozen Corporation. In 1987, Ambassador Walter Annenberg and his wife, Leonore, invited Warren and Susie out to Palm Springs for a weekend with their friends Ronald and Nancy Reagan. Buffett had dined at the White House and already knew both the Reagans from visiting Kay Graham's house on Martha's Vineyard, but he had never spent a whole weekend with a sitting president.

"It was kind of like an elaborate minuet or something. Sunnylands was designed to be sort of a court for Walter. You had two people living there and fifty-something servants. You had a billion dollars' worth of art on the walls, and I'm the only guy that was ever there that didn't ooh and aah over the art. I'd just as soon have a bunch of old Playboy *covers on the walls."* (Susie, however, might not have enjoyed herself quite as much.)

"They put us in the Blue Room. The bedspreads, the covers on the books were all blue. Everything was blue. The jelly beans were blue. Every guest room had two maids, so they could serve us breakfast in bed at the same time, and the trays would be placed down at the exact same time and they would lift the covers at the exact same time.

"When we would walk out in the evening dressed for dinner, there would be one maid on each side of the

door. And Susie's maid would say, 'Madame looks beautiful tonight.' And then my maid would look at me and just sort of gurgle. She'd had a week to prepare for me and think of what to say, and she can't come up with anything.

"Walter had his own private nine-hole golf course at Sunnylands. He had his own driving range with ten tees lined up and all these golf balls piled in perfect little neat pyramids. And there wasn't anybody there. The course was immaculate. If he had four foursomes, Walter would say, 'That's too much play for my course,' and send one of them off to play at Thunderbird Country Club. I'd go out there and hit four golf balls, and somebody'd run out and replace the pyramids. And that was the day at Sunnylands. It was as fancy as living gets."

Buffett, of course, had his own views about pyramids and pharaohs, but he liked Annenberg and was happy to play golf with him. Though he would never spend his money that way, Buffett believed that people had the right to spend their own money any way they chose. Besides, he would never dream of criticizing the ambassador. Annenberg paired Buffett that weekend with Reagan as a golf partner, so Secret Service agents trailed them—but refused to fetch golf balls out of water traps as Buffett had hoped.

Buffett had a mixed view of Reagan as President. He admired Reagan's handling of geopolitics. However, under Reagan the United States went from being the world's largest lender to its largest borrower. Just as junk bonds and leverage were ballooning on Wall Street, the government had been running up mountains of debt—which Buffett considered the Wimpy style of economics: I will gladly pay you Tuesday for a hamburger today.[60] Buffett's style was to own the cattle ranch—and he had the balance sheet to prove it.

Armored by Berkshire Hathaway's balance sheet—and a golf scorecard signed by the President of the United States—Buffett was now a fortress of power, a fount of widely acclaimed wisdom. After his role rescuing Scott Fetzer, people thought of him as a high-profile protector. Every financial statistic pertaining to him and his company rang with exclamation points. Berkshire Hathaway's book value per share had grown by more than twenty-three percent a year for twenty-three years! Buffett's first group of partners had reaped $1.1 million for each $1,000 put into the partnership! Berkshire was trading at the dizzying price of $2,950 per share! Buffett himself had a net worth of $2.1 billion! A Wall Street money manager—an investor—was the ninth-richest man in the U.S.! Never in history had anyone climbed from the ranks of those who managed other people's wealth to join the celebrated few on top of the feeding chain of riches. For the first time, the money from a partnership of investors had been used to grow an enormous business enterprise through a chess-game series of decisions to buy whole businesses as well as stocks. Inevitably, more people were going to call him for help.

The next person to pick up the phone was John Gutfreund, the man who ran Salomon Brothers and had endeared himself to Buffett by helping to save GEICO in 1976.

That he had done so showed both the strength and weakness of Salomon. The GEICO stock underwriting had been based on the opinion of one equity research analyst. If the firm had any stature in the marketplace of selling stocks, it would have passed on the deal as far too small to be worth the legal liability if it failed—as all the other firms had done. But Salomon, bold and decisive rather than bureaucratic, dared the risk because it needed the business. Buffett had always taken a liking to people who extended themselves and helped him make money. And Gutfreund's reserved, intellectual prep-school personality, coupled with a domineering brutality, seems to have added to Buffett's trust in him as overseer of an unruly-by-nature investment bank.

Gutfreund had grown up the son of a well-to-do meat-truck company owner in Scarsdale, New York, a golf-course-ringed suburb of commuters close to New York City. He'd majored in literature at Oberlin College and considered teaching English, but was drawn to the trading floor by a golfing friend of his father's, Billy Salomon, a descendant of one of the firm's three founding brothers.

Salomon Brothers was born in 1910 when Arthur, Herbert, and Percy Salomon, carrying $5,000 of capital, knocked on Wall Street's doors to broker short-term loans. Less than a decade later, the U.S. government became the tiny firm's client by adding Salomon to its list of registered dealers of government securities. With this endorsement, Salomon, a game little terrier, scrapped its way to respectable size over the next three

decades by sticking to its core business of trading bonds using its wits, nerve, and fidelity to clients.[61] Meanwhile, dozens of other small brokers closed shop or were swallowed up by larger ones.

Billy Salomon had installed Gutfreund as a trading assistant. Joining a roomful of men who spent their days buying and selling bonds for clients on the phone, Gutfreund, like the rest, carved off a little slice of everything for Salomon in return for his labors. He proved a deft trader and made partner in 1963 at the age of thirty-four. Partners at Salomon were bound by the edict of Billy Salomon, all of their interests welded together by the capital he forced them to leave at risk in the firm—instead of taking it out year by year as bonuses and profits.

In 1978 Billy Salomon promoted Gutfreund to head of the firm, then retired. Three years later, Gutfreund showed up on his friend and mentor's beachfront porch in East Hampton to say that he was selling Salomon to Phibro, a giant commodities dealer, to create Phibro-Salomon Inc. Gutfreund and his partners walked away with an average of nearly $8 million apiece in profit from the sale, while those who had built the firm and were now retired—like Billy Salomon—got zero, zilch.[62] One former partner thought it a Greek tragedy: the story of Oedipus, who had killed his own father.

Gutfreund became co-CEO with Phibro's David Tendler. Running a firm with a co-CEO is like trying to balance two ends of a seesaw in the air. When Phibro's business slumped after the sale just as Salomon's was soaring, Gutfreund wasted no time. He slammed his end of the seesaw to the ground and sent Tendler flying.

After Gutfreund took control, he added a foreign-currency business, broadened into equity trading and underwriting, and expanded the bond business into Japan, Switzerland, and Germany. For the next few years, the witch doctors from academia with their computers and formulas filtered onto Wall Street, and Phibro-Salomon's floor became populated with PhDs who unlocked the mathematical secrets of stripping, slicing, packaging, and trading mortgages and other bonds. By inventing a whole new segment of the bond market, Salomon (for the Phibro-Salomon name never quite replaced "Solly" in people's minds and was dumped in 1986) grew in a few short years from a second-tier firm to the top of the Street, with a swagger to match, as its traders stayed many steps ahead of other banks.

They ruled from "The Room," Solly's trading floor, a smoky palace about a third the size of an airplane hangar, filled with long double rows of desks where the traders, salespeople, and assistants crouched in front of banks of screens with a slice of pizza in one hand and a telephone receiver in the other. The daily battle took place as a symphony of groans and curses and farts and screams punctuating the background babble, yelps, and mutterings of trader talk. Eccentrics were welcome, as long as they produced. Gutfreund shot down the aisles every morning from his desk on the floor as if fired from a cannon. He glared through horn-rimmed spectacles, chomping his stogie, and shredded screwups into piles of mulch on the trading floor.

The characters on the trading floor bartered with a camaraderie born of competition and a united obsession with killing the other team. They so dominated the bond-underwriting market that *BusinessWeek* crowned Salomon "The King of Wall Street."[63] The story also said it was the kind of place where the "long knives" could come out if things went south—in other words, that Gutfreund would purge anyone suspected of dissent in order to still a revolt.[64]

Salomon's profits peaked in 1985, when the firm made $557 million after tax. But the new businesses —principally equities—didn't earn their keep; thus, internal competition started to get out of hand. The traders who had built Salomon's unique and profitable business started to leave, enticed by million-dollar offers from other firms. Soon they populated Salomon's competitors. Gutfreund ratcheted the pay upward to stem the tide. But he did not crack down on departments like equity trading and investment banking when they failed to produce, then came in with new five-year plans to fix their failures. His intimidating personality covered a soft underbelly: He shrank from hard decisions and substantive confrontations. As time passed, he spent less time in The Room and presided with a somewhat distracted air over a kingdom in which the threat of poison hung in the air. "My problem is that I am too deliberate on people issues,"[65] he would later say. Somewhat unfairly, observers blamed not him but his wife, Susan.

Tied to her husband by a long, long leash, all through the 1980s Susan Gutfreund had raced headlong up Fifth Avenue, dragging the once-retiring, silver-haired CEO of Salomon behind her into international society. Gutfreund came to tolerate and even enjoy it because, he said, she expanded his horizons. With Susan blowing with the force of a nor'easter, he turned his rudder and ran into the wind. Modesty and thrift were the first to go overboard.

"It's so expensive to be rich," the former flight attendant complained—perhaps facetiously but nonetheless famously—to Malcolm Forbes.[66] Susan's party guests received chauffeur-delivered invitations tied with yellow roses for events that featured four types of caviar. She chilled her perfume in a refrigerator next to her bathtub. She yanked up her Chicago roots to become such a Francophile that her butler answered the phone in French. She greeted First Lady Nancy Reagan, at their first meeting, *"Bonsoir, Madame."* At the couple's River House living room in New York City, millions of dollars' worth of French antiques sat atop a million-dollar rug. She redid Salomon's executive meeting room, drenching it with so much passementerie and ormolu that it "looked like a French bordello."[67] She wore the collection of designer Hubert de Givenchy, who lived across the courtyard from the Gutfreunds' eighteenth-century Paris pied-à-terre. In New York, their righteously indignant neighbors sued them when an allegedly unauthorized crane appeared on their penthouse terrace to hoist a twenty-two-foot, five-hundred-pound Christmas tree into the Gutfreunds' living room.[68] Thus did Susan Gutfreund become 1980s Nouvelle Society's most beloved object of parody. The Gutfreunds graced magazine covers and Susan earned a role in Tom Wolfe's roman à clef, *The Bonfire of the Vanities.*[69] Susan's friends defended her, but however overdone the satire might be, nobody, not even her husband, questioned that this outpouring of opulence had diverted his attention, at least a little bit.[70]

A corporate history published around this time included a telling remark. Instead of making a decision and expecting others to follow, it said Gutfreund "liked to involve the people who would be affected" and "would bend over backward to make them comfortable with what was to be done." Nevertheless, wrote the author, protesting a bit too heartily, Gutfreund "is in ultimate control" and "his decisions after consultations are final."[71] In fact, some of Gutfreund's former partners, now retitled "managing directors," were mounting a major challenge to his authority. Having kept their commitment to grow, they now blamed him for the bloated costs and vied with one another for territory.

By the end of 1986, when earnings had begun to sink from the burden of the newly swollen payroll —Salomon had increased its staff by forty percent that year—the managing directors nearly dethroned Gutfreund in a coup. The firm's largest shareholder, the South African company Minorco, grew impatient and told Gutfreund it wanted to sell its block of stock. But when "nothing happened," according to several of the managing directors, and Salomon's stock languished as the Dow rose forty-four percent, Minorco found its own buyer: Ron Perelman, the feared corporate raider who had taken over Revlon.

The executive team did not want to work for Perelman and whomever he brought in at the top.[72] Gutfreund pushed the panic button and called Buffett, asking him to invest in Salomon as "white knight" to save Salomon from Perelman—much as Buffett had saved Ralph Schey at Scott Fetzer from Boesky.[73]

Owning a company that sold vacuum cleaners was one thing. Even though Salomon was dominated by trading, which Buffett liked, the firm was muscling its way into investment banking and had recently caved to market pressure and set up a merchant banking business to finance takeovers using junk bonds, a technique he despised. The firm was late to the highly competitive merger business, still a novice.[74] In trying to launch Salomon in these rough waters, Gutfreund seemed uncomfortable; he had aged visibly in just one year.[75]

Yet Salomon's expertise in reshaping the bond market appealed to Buffett at a time when good stock ideas had become scarce.[76] While he denigrated junk bonds, he didn't shun the takeovers that were done using them. In fact, he opportunistically arbitraged those deals—shorting the stock of the acquirer and buying the stock of the acquiree. Since Salomon's bond arbitrage unit made most of the firm's profits, the firm in fact was an arbitrage machine, and he had a deep affinity and respect for this corner of Wall Street.

Moreover, Buffett's nostrils had caught the rich warm scent of money, for Gutfreund had the air of desperation. So he said that Berkshire would buy $700 million of Salomon preferred stock, as long as it made fifteen percent.[77] Gutfreund ordered his horrified employees to design a security that would deliver to Buffett the kind of returns normally earned only on a junk bond. Over the weekend of Rosh Hashanah, the Jewish New Year, when Gutfreund knew the observant Perelman would be neutralized, Buffett flew to New York, and he and Gutfreund met at Salomon's lawyers' offices. Buffett walked in by himself, without a briefcase or even a pad of paper in his hand. Over a handshake, he agreed to buy a preferred stock with a nine percent coupon that would convert to common stock at the price of $38.[78]

The nine percent yield gave Buffett a premium return until the stock went to $38, when he had the right to convert to equity. So the upside was unlimited. But if the stock went down, he had the right to "put" the security back to Salomon and get his money back.[79] The deal worked out to an expected fifteen percent profit, on an investment that carried very little risk.[80]

The annual dividends on this preferred stock—$63 million—were more than Blue Chip and Berkshire had spent on the *Buffalo Evening News* and See's Candies together. Inside Salomon, people were outraged.[81] They felt that Gutfreund had dithered on the Minorco request, then called Buffett in desperation, and had to overprice the convertible as a result. And thus, for his huge fifteen percent return, Buffett was, as writer Michael Lewis would later explain, making "only the safe bet that Salomon would not go bankrupt."[82]

What the firm had bought with all this money was Buffett's reputation, which came partly at the expense of Gutfreund's power. Along with the deal, Buffett and Munger each got board seats. Before signing the papers, Buffett climbed aboard his new jet and flew to New York. He met Munger at One New York Plaza to inspect Salomon.

Standing outside Gutfreund's office next to the trading floor, he beheld The Room for the first time. Hundreds of disheveled people sweated in front of tiny green screens. Most had phones glued to each ear as they jostled, spat, puffed, and spun their way through multimillion-dollar deals. Curses and screams cut through the low roar that filled the air. Above the scene hung a hazy fog. So many traders calmed their nerves with tobacco, why bother to abstain? Everyone's lungs were always filled with nicotine anyway.

Munger crossed his arms and turned to Buffett. "So, Warren," he said. "You really want to invest in this, huh?"

Buffett stood, gazing out through the haze over the pandemonium that he was about to buy. "Mmmm-hmmmm," he said, after a long pause.[83]

47

White Nights

New York City • 1987–1991

Observers stood slack-jawed that the Midas from Omaha had gilded the mighty Salomon Brothers with his touch. Buffett—the burger-chomping billionaire next door, who drove an eight-year-old Cadillac, lived in his original $31,500 house, and possessed few of the tokens of the rich and famous—owned a major investment in a Wall Street bank.

He routinely railed against the Wall Street of which he was now very much a part. He wrote the Berkshire

shareholders excoriating the junk bonds used to finance takeovers—including Salomon's—which, he said, were "sold by those who didn't care to those who didn't think."[1] *"I never talk to brokers or analysts,"* he said. *"You have to think about things yourself…. Wall Street is the only place people ride to in a Rolls-Royce to get advice from people who take the subway."*[2] On the pages of the *Washington Post,* he had decried the "casino society" that was making the corporate raiders rich. Why not tax one hundred percent of the speculators' profits?[3] There was certainly a lot to tax. From 1982 to 1987, the Dow Jones Industrial Average had streaked from 777 to 2,722. If you want to make money, he told business-school students, "hold your nose and go to Wall Street." But he was already there.

The image of Wall Street seducing a Midwestern populist into bed was too good to leave alone. Asked by a reporter why he owned the largest single chunk of Salomon when Wall Street was such a sinkhole, Buffett did not hesitate. He had placed his faith in one man. John Gutfreund, he said, "is an outstanding, honorable man of integrity."[4]

Buffett always did fall in love with people, and observers said he was noticeably in love with Gutfreund—at first. Yet the man who once quit his job as a "prescriptionist" to escape the inherent conflict of interest with his customers couldn't shield himself with John Gutfreund from the basic fact that he owned part of an investment bank, which was riddled with conflicts of interests with its customers. How had he gotten himself into the—at best awkward—position of sitting on the board of such a company?[5] It was as if, during a dry spell, Buffett's urge to make money had once again overwhelmed his high hopes, high aspirations, and high principles. And as had been true throughout his life, whenever his avarice got the upper hand, trouble followed.

At the time that Buffett invested in Salomon, the market was near a breaking point. In his shareholder letter the previous March, he had said that money managers were so hyperkinetic they made "whirling dervishes appear sedated." He didn't have a partnership to dissolve, but over the next few months he started dumping stocks. He knew that as the market continued upward, part of what was driving it was a new invention, the "S&P 500 future." Salomon, like all major banks, now traded derivative contracts that were a way of betting how high or low the index of S&P 500 stocks would be on a certain date.[6] Derivative contracts work like this: In the Rockwood Chocolate deal, the value of the futures contract was "derived from" the price of cocoa beans on a certain date. If the beans turned out to be worth less than the price agreed to by the contract, the person who had bought the futures contract as insurance "won." Her losses were covered. If the beans were worth more, the person who had sold the futures contract as insurance "won." The contract entitled him to buy the beans below the then-current market price.

Suppose that in the weight deal Buffett had made with Howie for the rent on his farm, he didn't want to risk Howie's actually losing weight, which would drop the rent. Since this was under Howie's control, Warren might want to buy insurance from someone else. He could say to Susie, "Lookit, I'll pay you a hundred bucks today. If Howie loses twenty pounds and keeps it off for the next six months, you'll pay me the two thousand dollars of rent that I'll lose. If he doesn't keep it off for the whole six months, you don't have to pay me the rent and you get to keep the hundred bucks." The index that determined the gain or loss was "derived" from Howie's weight, and whether or not Buffett would make such a deal was based on a handicap of the odds that Howie would be able to lose the weight and keep it off.

Another example: Suppose that Warren made a deal with Astrid to give up eating potato chips for a year. If he ate a potato chip he had to pay her a thousand bucks. This would not be a derivative contract. Warren and Astrid were simply making a deal. Whether Warren ate a potato chip was not "derived from" anything. It was under his own control.

However, if Astrid and Warren made that agreement and then Astrid paid Warren's sister Bertie a hundred bucks as insurance, in exchange for a thousand dollars if Astrid lost the bet, the deal with Bertie would be a derivative contract. It would be "derived from" whether Warren ate the potato chips, which was not under either Bertie's or Astrid's control. Astrid stood to lose the hundred bucks to Bertie if Warren didn't eat the chips, and Bertie would lose a thousand bucks if he did. "Derivatives," therefore, are either a type of

insurance (for Astrid) or an outright gamble (for Bertie).[7]

Most people buying and selling derivative contracts do so based on an impersonal index, setting the contract without ever meeting their counterparty. The S&P "equity index futures" that money managers were buying as insurance in 1987 paid them back if the stock market fell below a certain level. People who assumed the market would keep going up were often "gambling" by "selling" the insurance. They wanted income from the premiums.

Buffett had written to Congress citing the risk inherent in these deals and urging regulation of this market as long ago as 1982, but nothing changed.[8] Since then, equity index futures had swarmed like gnats in July. If stocks started to fall, all the bills would be presented to the sellers of insurance at once. They would have to dump stocks to meet their claims. The buyers of the index futures, meanwhile, were often using them to insure "program trades" that would sell automatically as the market fell, triggering a cascade of sales.

By the early fall the market got nervous, and began to stutter and stall. On Black Monday, October 19, 1987, stocks plunged a record-breaking 508 points as everybody tried to squeeze through the keyhole at once. The market came close to a trading halt, as it did in 1929, and suffered its largest one-day percentage drop in history.[9]

* * *

The Buffett Group happened to be meeting on the third day of the avalanche, this time in Colonial Williamsburg. Kay Graham had been put in charge of the arrangements, and she used Williamsburg's atmospheric celebration of America at its purest, most patriotic moment to elevate the meeting from its formerly *"slapdash, amateur effort by whoever,"* as Buffett put it, to a whole new standard. The group was chauffeured everywhere, and members who were used to bran flakes at breakfast woke to find "enough food for a thousand people," as one member described it, with chicken, steak, ham, and chicken livers served alongside their eggs. Graham hired Carter's Grove Plantation, a historic eighteenth-century mansion fronting the James River, for a formal dinner one night and rented out a theater to screen a movie produced by Rick Guerin, some of whose money had been funneled directly into Hollywood. As the events crescendoed, each more elaborate than the last, the group was awestruck by the contrast with prior years, as well as by the expense. "How wonderful of Kay to have us as her guests," Chuck Rickershauser said, as everybody in earshot nodded. On the final evening, Graham hired costumed chamber musicians to play Haydn during a private dinner at the DeWitt Wallace museum.[10]

The topic planned for discussion as stocks were peaking had been "Is the Group finished with the market?" Instead, with the market crashing around their ears, for three days Buffett, Tisch, Gottesman, Ruane, Munger, Weinberg, and the others glowed like fireflies as they flickered in and out of the room, checking stock prices and phoning their traders with controlled excitement. Unlike the many people devastated by losses, they were *buying* stocks.[11]

When the avalanche survivors were dug out of the snow, however, Warren's sister Doris—now living in Fredericksburg, Virginia, the town she had fallen in love with when the family followed Howard to Congress—turned out to be one of the many people who had been "selling" the insurance. She had sold what were called "naked puts," a type of derivative peddled by a Falls Church, Virginia, broker. Naked puts were promises to cover somebody else's losses if the market fell—"naked" because they were unclothed by collateral and thus unprotected against loss.[12] The broker had emphasized that the naked puts would provide Doris with a steady stream of income, which she needed. It is hard to imagine that the broker gave her any kind of realistic description of the risk she was taking, especially using a scary term like "naked put." Doris was unsophisticated about investing but highly intelligent, with a hard-nosed common sense. She had not talked to Warren about the investment, however. He was famous for recommending only extremely safe, low-return investments, like Treasury or municipal bonds, especially when counseling divorced women. These were investments that he would never make himself. Doris had trusted him enough to become one of

his first partners; she trusted him implicitly when it came to investing for Berkshire. But that long-ago childhood episode when Cities Service Preferred went down after he bought it for himself and Doris might have loomed large in both their minds, had she asked him for advice. She didn't ask.

Now, acting on her own, Doris had incurred losses so large that they wiped out her Berkshire stock and threatened her with bankruptcy. Compounding her desperation, she had recommended the broker to some of her friends and felt responsible for the money they had lost as well.

Doris romanticized her brother, viewed him as a protective figure, and kept a little shrine to him, featuring miniature golf clubs, Pepsi bottles, and other symbolic accoutrements of his life. But when she had a problem, instead of going to Warren, she called Susie as a go-between, as everyone in the family did. By this time Doris had been married and divorced three times. She felt she had rushed into her first marriage out of insecurity; her second had failed in part because she had felt coerced into it and thus hadn't fought hard enough to save it. Her third marriage, to a college professor in Denver, had been a terrible misjudgment. By now, Doris had experienced a great deal of mistreatment in her life, but rather than letting it cow her, she fought back. This time, however, she didn't know what to do.

"You don't ever need to worry," Susie had told her about her brother after her third divorce. "He'll always take care of you."

After she confessed to Susie what she had done and asked for help, Warren called her early on a Saturday morning. He said that if he gave her the money to pay her creditors, it would only help the businesses to whom she owed money—the counterparties whom she had insured. His logic was that they were speculators; therefore he would not bail them out. As she realized that this meant he was not going to help her, she broke out in a cold sweat and her legs started shaking. She was sure this meant that her brother despised her. He felt, however, that his decision was simply rational.

"I could have given a couple million dollars to her creditors if I'd wanted. But, you know, the hell with them. I mean, this broker woman who sold this stuff to Doris—she'd busted everybody in that particular branch."

Doris hoped that Susie would save her. Susie had so much money of her own, and Warren gave her so much money, most of which she gave away. However, just as Susie had not given money to Billy Rogers for a down payment on a house, she did nothing now to help Doris financially.

The story hit the *Washington Post* that the sister of "a highly successful investor" had done something extremely dumb. Damaging Warren's reputation was a serious transgression in the Buffett family, and Doris's timing was terrible. The Buffetts were still trying to recover from Billy Rogers's fatal overdose just seven months before, another event that had publicly bared the problems beneath the family's wholesome surface. Warren may have known—on some level—that he was rationalizing. Certainly he feared Doris's ire; when she felt threatened—like Kay Graham—Doris defended herself as if cornered. Warren, of all people, genuinely understood his sister—but he could not tolerate shrill behavior from anyone, not even her. So he retreated. He stopped calling, and nobody else in the family contacted Doris. She felt as though the family had cut her off. Frightened at being abandoned and deeply wounded, Doris browbeat her mother for money and loans to prevent her from losing her home.[13] Ironically, the Federal Reserve had lowered interest rates, companies were buying their own stocks, and the market was recovering quickly from the debacle, leaving only victims like Doris behind in its wake. In a sort of panic, she married Al Bryant, the lawyer who was helping her with her legal difficulties.

But behind the scenes, Warren was arranging to advance his sister $10,000 a month from the trust left by Howard's will. "That was more money than I have ever spent in my whole life," she says. The tension deescalated; they were able to speak. She was almost prostrate with gratitude—until she realized that this was her own money, which she was simply being paid early. At the time, her share of the trust, having grown from a little over 2,000 shares of Berkshire that were worth $30,000 in 1964, was valued at about $10 million. The trust was not structured to pay out until Leila died, when Doris and Bertie would receive the money in four installments. As a further olive branch, however, her brother set up the Sherwood Foundation,

which paid out $500,000 a year in charitable gifts. Doris, Warren's children, and Astrid could each allocate $100,000 to any causes they chose. The annual income produced was as if her brother had put around $7 million into a trust for the five of them. Doris's share, therefore, was almost as much as if Warren had given her the money after all, but in a different form.

Of course, it was not in a form she could use to pay her debts or save her house—Warren never gave money outright, only in an earmarked manner that he controlled. Still, as the storm subsided, Doris regained perspective. She was grateful that he had gotten over his embarrassment and had helped her, in his own way. She was acutely aware that without him she would have had nothing in the first place. As she scraped together the money to pay her debts, their relationship gradually returned to normal, and the shrine stayed in place on her wall.

The other victim of the crash that Buffett had to deal with was Salomon. Only three months after Berkshire's investment, he and Munger attended their first board meeting. The topic of the day was the slump in trading and merger business at Salomon and the $75 million that Black Monday had cost the firm.[14] Salomon faced the cleanup from Black Monday weakened by the fact that, only days before the crash, Gutfreund, his moon-shaped face impassive, had head-chopped even highly valued longtime employees, laid off eight hundred people, and discontinued marginally profitable businesses such as commercial paper trading (a backwater of the bond business) so abruptly that the disruption hurt relationships with some important clients almost beyond repair.[15] These and the losses from Black Monday were going to gouge a deep hole in the shareholders' pockets that year. And with that, Salomon's stock fell into the tank.

The shareholders were suffering, yet the compensation committee—which Buffett had joined at the request of its chairman, Bob Zeller—began to discuss lowering the price at which the employees' stock options could be exercised.

These options were rights to buy stock at a specified price in the future. If Salomon had been See's Candies, it would be as if Buffett paid the line workers partly in pieces of paper that gave them the right to buy candy at a set price. If the price of candy kept going up every year, those pieces of paper kept increasing in value as time went along.

However, right now the candy factory was having a bad year. See's was going to lose money and its employees would suffer a cut in wages. The compensation committee was talking about lowering the price the workers would have to pay for candy to make up the difference. Buffett argued against this. The candy factory belonged to the owners—the shareholders—not the employees.[16] He wanted the employees' share of candy trimmed by exactly the amount that earnings had declined.[17] The other members of the committee, however, felt the workers had been promised candy worth a certain amount when Gutfreund announced their packages a couple of months before, and when the candy went on sale, they were obligated to make up the difference. Perhaps they were trying to forestall the traditional Wall Street bonus-day stampede that occurs whenever people are unhappy: Take the money and run.

Buffett felt this was morally wrong. Since the shareholders weren't getting their earnings, why should the employees get their candy? The others outvoted him two to one. He was outraged.[18] But his role on the Salomon board was mostly titular. His advice was rarely sought and less often taken. Even though Salomon stock by then was starting to recover, the repricing of the stock options, he says, *"almost immediately"* made his investment in Salomon *"way less attractive financially than it had been.*

"I could have fought harder and been more vocal. I might have felt better about myself if I did. But it wouldn't have changed the course of history. Unless you sort of enjoy combat, it doesn't make sense." Buffett's willingness to do combat—even in a roundabout way—had diminished markedly since the days of Sanborn Map, Dempster, and the Buffetting of Seabury Stanton.

"I don't enjoy battles. I won't run from them if I need to do it, but I don't enjoy them at all. When it came to the board, Charlie and I didn't even vote against it. We voted yes. We didn't even abstain, because abstaining is the same thing as throwing down the gauntlet. And there were other things at Salomon. One

thing after another would come up that I thought was nutty, but they didn't want me to say anything. And then the question is, do you say anything? I don't get in fights just to get in fights."

Buffett had been originally attracted to Gutfreund, the reserved, thoughtful man in love with his work, who arrived every day at seven a.m., lit up the first of his huge Temple Hall Jamaican cigars, and wandered among the shirtsleeved traders to tell them, "You've got to be ready to bite the ass off a bear every morning."[19] Indeed, it appeared to employees who made presentations in board meetings that Buffett was a "relatively passive" board member.[20] He seemed to understand little of the details of how the business was run, and adjusting to a business that wasn't literally made of bricks-and-mortar or run like an assembly line was not easy for him. [21] Since he had made the investment in Salomon purely because of Gutfreund and now didn't like the way it was working out, he always had another choice, which was to sell his investment and resign from the board.[22] Wall Street boiled with rumors that Buffett and Gutfreund had had a falling out; that Buffett was either going to sell or to fire Gutfreund and bring in someone else to run the firm.[23] But it hadn't come to that. Someone as prominent as Buffett selling and resigning from the board as a major investor would be a shocking gesture that would drive down Salomon's stock price and cost his own shareholders, as well as make him look capricious or vindictive or unreliable. By now his reputation had become part of Berkshire's value. Moreover, he hadn't given up on Gutfreund. His whole reason for investing was Gutfreund, and when Buffett threw his arms around someone, it took an ax to split them apart. Thus, as the holidays approached, he and Gutfreund struggled uneasily to work out their differences.

Meanwhile, the high cost of 1987 was not quite over. A belated note from Katharine Graham to members of the Buffett Group arrived two weeks before the end of the year. Some of them went into shock. She had sent them a bill. As it turned out, they had not been her guests. Instead, they themselves had been paying for the extravaganza in Williamsburg that Kay had put on! The total was "somewhat breathtaking," she acknowledged, adding, "I'm really sorry it's so late and so much. I hope Xmas is still merry and I'm still your friend."[24]

Buffett did have a merry Christmas, but for another reason: His present to himself was Coca-Cola. It would make up for a great deal of the unhappiness from Salomon. At a White House dinner some time earlier, he had reconnected with his old friend Don Keough, who was now president and chief operating officer of the company; Keough had convinced him to switch from his own concoction of Pepsi dosed with cherry syrup to the newly introduced Cherry Coke. Buffett tried it and liked it. His family and friends were gobsmacked when the man so famously loyal, especially to Pepsi, performed this turnaround. For years, however, KO stock had been too expensive for Buffett to consider. Now, however, the company had gotten into trouble, its bottlers locked in a fierce price war with Pepsi that had taken the price of Coke down to around $38 a share. Rumor said that it had become a takeover target of the dreaded Perelman, and the company was buying back its own stock. Although still expensive, it had the same quality of a great brand under duress as American Express had had earlier.

The way Warren looked at it, Coca-Cola was no cigar butt, yet it was pouring forth a waterfall of cash, and spending only a small portion of that to operate. Its cash flow each year had value; that was something he could quantify in his head. Since he had studied the company for years, he knew how much money it had made in the past and he could make a sensible judgment of how much Coca-Cola's businesses were going to grow for many years in the future.[25] Adding up those estimates of cash flow year after year gave him an ultimate value.

Predicting the company's prospects many years from now wasn't a precise science, however. Buffett applied a margin of safety to his estimates. He did this simply by taking a whack at the number, rather than using some complicated model or formula. He used no computers or spreadsheets in doing any of these calculations; if the answer didn't hit him over the head like a caveman's club, in his view, the investment wasn't worth making.

After the estimate came the decision. He had to compare what Coca-Cola would ultimately be worth as a business—the bird in the bush—to the bird in the hand, which was Berkshire's cash. Simply by investing the

cash in government bonds that had no risk of losing money, Berkshire could earn a certain amount over that same period. He compared the two. By that yardstick, Coca-Cola was a beauty, and in fact, there wasn't any other stock he knew of that stacked up better. Buffett started buying it.

When Coca-Cola products turned up at Buffett's shareholder meeting in 1988, Berkshire shareholders began swigging Coke in imitation of him. They had no idea that, through Berkshire, they also owned the stock. The meeting took on a whole new tenor that year when a thousand people showed up at the Joslyn Art Museum auditorium. This was the year that the Frozen Corporation, no longer a quasi-partnership, officially joined big-time corporate America and listed itself on the New York Stock Exchange. The Berkshire meeting had to be delayed because so many people showed up that shareholders were having trouble finding parking spots. Buffett had an inspiration. He rented two school buses and persuaded a few hundred shareholders to follow him after the meeting, like the Pied Piper of commerce, to the Nebraska Furniture Mart. Part of the appeal was the chance to meet the indomitable Mrs. B, about whom Buffett had been writing and talking for five years. The shareholders were so charmed by the tiny tank of a woman perched on her electric cart in the carpet department—and by her prices—that they spent $57,000.[26]

By year's end, the shareholders still did not know that Berkshire had purchased more than fourteen million shares of KO at a cost of almost $600 million.[27] Because his every action now moved markets, Buffett had gotten special dispensation from the SEC not to disclose his trades for a year. He was buying so much KO stock and the company itself was repurchasing so much that, rather than compete against each other and bid up the price, "they would buy half and Buffett would buy half" of the daily trading volume, according to Walter Schloss.[28] Berkshire soon owned more than six percent of the company, worth $1.2 billion.[29] In March 1989, when his position was revealed, the resulting hullaballoo caused so much demand that the New York Stock Exchange had to stop trading the stock to keep the price from skyrocketing out of control.

Coca-Cola's CEO, Roberto Goizueta, had glowed with delight at the famous investor's endorsement. He asked Buffett to join his board, possibly the most prestigious in North America. Buffett had accepted with alacrity, steeped himself in all things Coca-Cola, and met a number of new people who were fellow board members, including Herbert Allen, the blunt-spoken, straight-shooting chairman of Allen & Co. The two became allies. Allen invited the Buffetts to his Sun Valley conference, which was emerging as the quintessential elephant-bump for corporate CEOs. At Sun Valley, investors, Hollywood, and media moguls met to mingle and play every July.

Buffett knew this meant adding a new annual event to his calendar, but Sun Valley was important and he wanted to attend. Moreover, he now had the means to arrive in style. In keeping with his rising stature as a member of the CEO Club, he had just swapped the used Falcon for a fancy new Challenger jet that cost nearly $7 million. He revealed the airplane—which he had dubbed the *Indefensible*— in his shareholder letter, making sport of himself with St. Augustine's prayer: "Help me, oh Lord, to become chaste—but not yet." He would soon write his shareholders that he wanted to be buried in the jet.

On his way to the airport to fly to Sun Valley, Buffett visited his sister-in-law Dottie in the hospital. Frail, twig-thin, a longtime alcoholic, Susie's sister had contracted a severe case of Guillain-Barré syndrome, an autoimmune disorder of unknown origin and sudden onset that can cause almost total paralysis of the nervous system, including the respiratory system and other organs. Dottie was in a coma. She was so debilitated that her doctors recommended discontinuing treatment and letting nature take its course.

Susie, distraught, refused to allow this. She remained in Omaha throughout the summer and fall to nurse Dottie, who underwent a slow and arduous process of extensive care and physical therapy. Since Susie was in Omaha for an extended stay, she had taken an apartment in Dottie's building, across the hall from her sister. While there, she helped Howie campaign for Douglas County commissioner, an office that governed Omaha and its environs. He was running as a pro-choice Republican, in a race where being Republican helped and being pro-choice didn't hurt. Buffett had chosen not to back his son financially, once again confounding the perception that a rich man's son had plenty of cash, so Howie had to raise his own funds. But Susie stuffed envelopes and attended fund-raisers, covering herself with campaign buttons and showing her break-front smile everywhere, in order to put the family imprimatur behind her son. Her presence made everything

easier.[30] When Howie won the race, Buffett was exceptionally pleased. Farming had never resonated with him; politics made his heart race. He felt that Howie was starting to mature and detected the stirrings of ambition in his son. The Buffetts began to talk of Howie's running for Howard's old seat in the second Congressional district.

While Peter remained in San Francisco, two of Buffett's three children were now nearby—the two who had always wanted his attention the most. Susie Jr. had recently moved back to Omaha following the birth of her second child, Michael, after mentioning to her father—without telling her husband—that Allen wanted to run the Buffett Foundation, which needed professional management after undergoing a strategic reorganization under the direction of family friend and activist Shirley Smith. Warren seized this chance by the throat. It not only brought his daughter home but also looped Big Susie closer to him.

Having his daughter around pleased Warren in another way. Susie Jr. shared her mother's caretaking quality, although packaged in a more businesslike style. He would now have two women in Omaha to look after him. More women to look after him was something that he had always rationalized. *"Women don't mind taking care of themselves,"* he said. *"Men mind taking care of themselves. I think women understand men better than men understand women. I'll eat asparagus before I give up women."* His desire to be taken care of by women was so overwhelming that he mostly left it up to the women to settle any differences in their hell-bent desire to do what, in each of their opinions, was in his best interest. Susie Jr. and Astrid began to work out their respective roles.

The network of connections he had forged now brought Buffett a business that would certainly put him in favor with all his women—Borsheim's, an Omaha jewelry store. Louis Friedman, the brother-in-law of Mrs. B, had founded this company, which carried high-and mid-range merchandise at discount prices. Buffett had learned how strongly women preferred jewelry to clothes, no matter how well clothing "held its value." The person most likely to be pleased by this purchase was Big Susie, who had been assembling an impressive collection of jewelry given by her contrite husband. Susie Jr. also appreciated jewelry, as did Warren's sisters and Kay Graham. The only one not that interested in jewelry was Astrid, who was uncomfortable with expensive things, though if he gave her jewelry, she certainly wouldn't turn it down.

So Warren's Christmas shopping for the women in his life was simplified in 1989. He worked out a system: earrings, pearls, watches, everybody would get a variation on some theme each year. But he himself got nothing to equal the hefty chunk of Coca-Cola that he'd bought so happily the year before. Worse still, he got a lump of coal in his stocking in the form of a new book, *Liar's Poker,* written by former Salomon bond salesman Michael Lewis. Named after a bluffing game that traders played using the serial numbers on dollar bills, the book captured Salomon's swaggering, innovative, energetic culture and how it had begun to break down in 1986 and 1987. *Liar's Poker* turned into a whopping bestseller; it depicted the firm's eccentricities so memorably that Salomon would never again live down its reputation as a sort of zoo for the most aggressive and uncouth people on Wall Street.[31] The end of the 1980s takeover boom was another problem for Buffett, for while he was still arbitraging announced deals, his usual feeding territory was empty. With no great businesses to buy, Buffett once again lowered his standards as he had when buying Hochschild-Kohn.

The lure this time was other CEOs, who, fearing for their jobs or their autonomy, began to offer him more special deals to invest. For Berkshire, he bought three apparently lucrative "convertible preferred" stocks, all structured along the lines of the Salomon deal, paying him on average nine percent, which gave him a floor on his return while also giving him the right to convert in case the companies did well. Each of these companies was quite different. Champion, a poorly managed paper business, was thought to be "in play" among takeover artists.[32] Gillette, a business with a huge "moat" around its brand—like See's Candies, invulnerable to competition—was being temporarily shunned by investors. And Pittsburgh-based US Air, formerly called Allegheny Airlines, a weak regional player in a newly deregulated industry, was also "in play."

Like the Salomon preferred stock, the terms of these special deals meant that critics suddenly viewed Buffett as protecting the interests of entrenched CEOs. It was of course in the interest of his own shareholders to maximize their returns while protecting them from risk, but Buffett now looked like one of those boardroom

insiders who depended on special deals to get ahead.

In the age of the buyout funds and corporate raiders, this level of greed was chump change. Buffett could have easily been a buyout king himself. But what his determination to stay friendly and on the side of management did make clear was that he was now one of the guys at the country club. Ben Graham had always felt that if someone traded in stocks, this necessarily made him an outsider—because he had to be willing to displease a company's management. Buffett, who wanted to be liked by everyone, had been trying to bridge that gap since his earliest investing days when he became friends with Lorimer Davidson at GEICO. Now, "Many Wall Street investors say Mr. Buffett's special deals amount to a kind of gentlemanly protection game," said one news story.[33]

In the end, what looked like sweetheart deals turned out to be no more than finely handicapped bets. Only Gillette turned into a winner, ultimately earning Berkshire $5.5 billion. US Air was the worst. Buffett had made a number of remarks over the years about the stupidity of investing in things with wings. Then the company suspended its dividend and, like Cleveland's Worst Mill, the stock plunged. "That was the dumbest fucking thing, going into that deal!" one friend exploded. "What the hell are you guys doing? You violated every one of your principles!"[34] Buffett would later agree, saying, *"As soon as the check cleared, the company went into the red and never came out. I have an 800 number I call and say, 'My name is Warren Buffett and I'm an Air-aholic."*[35] Charlie Munger's dry comment was, "Warren didn't call me on that one."

Salomon, the model for these deals, was also not doing well. After the crash and the near-escape from Perelman, the merger business had been slow to get back on its feet, and talented bankers left for elsewhere. Gutfreund had restructured the firm once again in another round of layoffs. But the managing directors no longer feared him. "People kept threatening John and he would try to buy them," said one vice chairman. At first the firm had three, then seven vice chairmen. "Honk if you're a vice chairman" became a joke around The Room.

Already fragmented into disparate power bases, Salomon now evolved into a system of warlords: a corporate-bond warlord, a government-bond warlord, a mortgage-bond warlord, an equities warlord.[36]

One ruled above them all: the warlord of bond arbitrage, a soft-spoken, brilliant mathematician, the forty-year-old John Meriwether. The shy, self-effacing "J.M.," a former PhD candidate, expressed his outsize ambitions through a team of professors he had lured with Wall Street salaries from schools like Harvard and MIT. These "arb boys" hunched protectively over their computers, fiddling with mathematical models portraying the bond universe, an oasis of intellect amid the belching, sweating traders, who more often swung from their gut. Like handicappers assembling the financial version of the *Daily Racing Form,* the arbs were launching a revolution in the bond business, and the edge their computer tip sheet gave them against the rest of the suckers produced most of Salomon's profits. They lived inside Meriwether's little bubble on the trading floor and felt they had earned their arrogance. J.M. was enormously forgiving of mistakes but relentless toward anyone he considered stupid, and the arbs were his personally chosen elite. He had a deeply complex personal relationship with his team, and spent nearly all his time with them, engaging in one of his three obsessions: work, gambling, and golf. Many an evening after the markets closed the arbs sat together, playing liar's poker to hone their handicapping skills.[37] The boyish-looking, blank-faced Meriwether usually won.

Despite his passivity and limited influence as a board member, Buffett certainly understood arbitrage. But the board's knowledge of Salomon's business details went only so far, and Buffett did not understand computers, which were becoming important to every business and intrinsic to the new Wall Street. He did know, however, that he was now a director of a corporation that was utterly dependent on computers, and he had certainly figured out that computers increased risk. He once visited Mark Byrne, the son of Jack Byrne, who traded foreign exchange options for Salomon.

"Mark was bright and young, and he had a computer in his home so he could trade all the time. He had it rigged so that if the Japanese yen moved more than a certain amount, it rang a bell or something and woke him up in the middle of the night.

"I said to Mark, 'Now let me get this straight. You've got this computer here, and at three in the morning, after you've been doing who knows what—we won't even ask—until one or two in the morning, you're asleep, and this bell rings. And you get up and stagger over to the computer, and you see that the yen-dollar relationship is such-and-such.

"'Tell me, is there any limit to what you can punch in to the computer in terms of the size of the trade that you'd do? Does the computer rebel if you make a mistake?'

"And he said, 'No, I can type whatever I want.'

"'So,' I said. 'Well. If you've had a little too much to drink, and you punch three extra zeroes in there by mistake, is the firm committed? Does it have to follow through with the trade?'

"And he said, 'Yeah.'

"So I had these nightmares of this guy, at three in the morning, maybe with a girl still in the bed or something, going over there in a daze and sort of punching something into the computer in the middle of the night and then staggering back to bed. And finding out the next morning that instead of a trillion yen, he'd put in a quadrillion yen."

To Buffett, it was obvious that the combination of fallible human beings and judgment-free computers in a completely unmonitored, unsupervised environment, meant an almost unlimited potential for things to go wildly out of control. But as a board member, he lacked authority to make changes and could only try persuasion. By now he and Munger had wrangled repeatedly—and unsuccessfully—with Salomon's management. Munger had taken over the audit committee—which had not formerly been a bastion of zealous oversight—and put it through six-and seven-hour dissections of the firm and its accountants. Munger discovered that Salomon's derivatives business had grown immensely, using trades for which no ready market existed. The trades would not settle for long periods, sometimes years. With minimal cash changing hands, the derivatives were valued on Salomon's books using a model.[38] Since the model was created by those whose bonuses it would determine, not surprisingly the models usually showed the trades were quite profitable. As much as $20 million of profits had been overstated through such accounting mismarks.[39] The audit committee, however, addressed only trades and deals already approved, and usually completed. The real oversight took place before the fact.

There, in the one area in which Buffett and Munger unequivocally had more skill than anyone else—making investments—they weighed in loudest of all—and were ignored. Their protestations only alienated them from the employees. In one example, Salomon's Phibro unit had formed a joint venture with a seven-year-old Houston company, Anglo-Suisse, to build oil fields in West Siberia, south of the Arctic Circle, that would supposedly revolutionize oil production in Russia. The White Nights venture brought peace offerings to Russia, among them a recreation center, food, and clothing, all flown over from the United States.

"Anglo-Suisse," Munger said when the idea was floated. "This is an idiotic idea. There are no Anglos and no Swiss involved in this company. The name alone is reason not to get involved."

But Salomon put $116 million into the joint venture anyway, thinking that oil was going to be integral to Russia's future and that Western capital was needed to extract the oil. But, while "the country isn't going to go away," as Buffett said, and "the oil isn't going to go away," the Russian political system could go away. No margin of safety could cover that.[40]

Sure enough, as soon as the White Nights joint venture got going, the Russian government began toying with a tax on oil exports. The tax nearly wiped out White Nights's profit. Then the volume of oil production proved disappointing. Russian nabobs flew to the United States and expected to be entertained with prostitutes. The Russian government was unpredictable and uncooperative, resulting in setbacks from start to finish. Somebody was going to make a lot of money from oil in Russia, but it wasn't going to be Salomon Inc.

Russia, however, was merely a sideshow at the time. In 1989, the United States had become obsessed with the possibility that the whole country would be eclipsed by the rising sun of Japan. Salomon had invested large sums in Japan and was doing well in its start-up business there, which had grown rapidly to hundreds of employees and was making money under its head, Deryck Maughan, who had wisely given local talent the reins. Buffett, who generally did not buy foreign stocks and who believed Japanese stocks in particular to be outrageously expensive, had shown little interest in anything related to Japan. Katharine Graham, however, had developed a fascination with Akio Morita, one of the world's most brilliant businessmen. Morita was chairman of Sony, one of the world's most successful corporations. Graham brought the two men together at one of her dinners, but they did not click.

Finally, during one of Buffett's trips to New York, Morita-san held a small dinner for Graham, Buffett, and Meg Greenfield at his Fifth Avenue apartment overlooking the Metropolitan Museum. Buffett, who seemed slightly mystified by Graham's interest in this powerful, visionary man—observing grudgingly that Graham "was sort of enchanted by Morita"—agreed to go.

Buffett had never eaten Japanese food but knew it might be problematic. He went to plenty of events where he touched nothing more than the dinner rolls. He could easily go seven or eight hours at a time without eating. He disliked offending his hosts, however, and as his reputation had grown, he found that there was no way to fake eating by cutting things up and moving them around. People noticed.

One side of the Moritas' apartment had a sweeping view of Central Park, the other a sweeping view of the sushi kitchen. A highlight for guests was the opportunity to watch the four chefs preparing the elaborate meal behind a glass window.

As they were seated for dinner, Buffett looked at the chefs. What was this going to be like? he wondered. As guest of honor, he was seated facing the kitchen. There were chopsticks on a little stand and tiny cruets and miniature bowls of soy sauce. He already knew he didn't like soy sauce. The first course was brought out. Everyone slurped it down. Buffett mumbled an excuse. He motioned for his full plate to be taken away. The next course arrived. Buffett could not identify it but looked at it with dread. He saw that Meg Greenfield, who had eating habits similar to his, also was having difficulties. Mrs. Morita, seated next to him, smiled politely and barely spoke. Buffett gurgled another excuse. He nodded again for the waiter to remove his plate. As his untouched dishes returned to the kitchen, he was sure the chefs noticed.

The waiter brought out another unidentifiable course of something that looked rubbery and raw to him. Kay and the Moritas tucked in with enthusiasm. Mrs. Morita smiled politely once again when he offered a third excuse. Buffett squirmed. He liked his steaks bloody but did not eat raw fish. The waiter cleared the plates. The chefs kept their heads down. Buffett was sweating. He was running out of excuses. The chefs looked busy, but he was sure they must be peeking sideways from behind the glass to see what he would do. Course after course arrived, and each of his plates went back, untouched. He imagined that he heard a slight buzz from the kitchen. How many more courses could there possibly be? He had not realized there were this many things on the planet that could be eaten raw. Mrs. Morita seemed slightly embarrassed for him, but he wasn't sure, because she smiled politely all the time and said so little. Time crawled more slowly with each course. He had been counting, and the number of courses now exceeded ten. He tried to make up for his culinary lapses with witty, self-deprecating conversation about business with Morita-san, but he knew he was disgracing himself. Even in the middle of his bonfire of embarrassment, he could not help but think longingly of hamburgers. He was sure that the beehive in the kitchen was humming louder with every plate he sent back. By the end of fifteen courses, he had still not eaten a bite. The Moritas could not have been more polite, which added to his humiliation. He was desperate to escape back to Kay's apartment, where popcorn and peanuts and strawberry ice cream awaited him.

"It was the worst," he says about the meal he did not eat. *"I've had others like that, but it was by far the worst. I will never eat Japanese food again."*

Meanwhile, hundreds of Salomon employees who would have crawled up Fifth Avenue on their knees blindfolded to eat this same dinner with the Moritas were instead dining at high-priced Japanese restaurants and mutinying over the size of their huge bonus checks. The hugeness of their checks was not the point. It

was the hugeness of their checks compared with others' huge checks that mattered. Buffett and Munger knew little of the trouble fomenting at Salomon. Meriwether's arbs had been agitating for more money. The former college professors, hired away from salaries of $29,000, felt they were subsidizing money-losing departments like equity investment banking. They viewed sharing their profits as "socialist."[41] The arbs could have made more on their own. They wanted a cut of the hundreds of millions they earned for the firm.[42] Although he was so shy that he had trouble maintaining eye contact, Meriwether now became the world's most aggressive and successful bonus pimp. Gutfreund caved and gave the arbs fifteen percent of what they made,[43] which meant they had the potential to come away with much more money than the traders, who shared their bonus pool. The deal was made in secret between Gutfreund and Salomon's president, Tom Strauss; the board never knew, nor did other employees at Salomon—yet.

By 1991, Buffett and Munger had been through a series of disappointments and setbacks at Salomon. The financial results they got were not always up-to-date. Staff demands for bonuses continued to spiral. They disagreed with much of what went on in the boardroom. The stock price had not moved for eight years. Earnings were down $167 million, mostly because of employees' pay.

Buffett, having so far let Munger be the Appointed Bad Guy, now roused himself, met with the executive committee, and told them to cut back. Yet when the final bonus pool number came through, it was $7 million *higher* than before. Under the new formula that Meriwether, as bonus-pimp, had procured for his arb boys, one of them, Larry Hilibrand, got a raise from $3 to $23 million.[44] When word of Hilibrand's bonus leaked to the press, some of his colleagues went crazy with envy and felt cheated—the millions they were making forgotten.

Buffett himself had no problem with the arbs' bonuses. *"I believe in paying talent,"* he says, *"but not, as Charlie would say, as a royalty on time."* The arrangement was like a hedge fund's fee structure and bore some resemblance to his old partnership.[45] It would put more pressure on the rest of the firm to perform. What he objected to was not being told. He objected even more to the fact that other people did not get haircuts for their lack of performance. Gutfreund had showed a better sense of proportion than most of his traders, opting to take a thirty-five percent pay cut, in line with the decline in earnings.[46] This helped him with Buffett, who thought Gutfreund had more class than his employees. But Buffett's sense of decency was so offended by the employees' greed that he overcame his natural inertia and voted against the bonuses for the traders. He was overruled. When word of Buffett's "no" vote raced through the hallways of Salomon, people were outraged. A billionaire who loved money had called them greedy.

Buffett considered Salomon a casino with a restaurant out front.[47] The restaurant was a loss-leader. The traders—especially Meriwether's people—were the casino: the purity of risk-taking done without conflicts of interest. That was the part of the business Buffett liked, and the new pay system was designed to keep the arbs from bolting.[48] But by trying to operate the firm under two distinct pay systems, as if it really were a casino with a restaurant out front, Gutfreund had driven a rift through Salomon's heart.

Now Meriwether and Hilibrand asked Gutfreund for permission to approach Buffett to buy back his convertible preferred stock. The terms were so rich that it was costing Salomon too much. They were no longer under threat of a takeover. Why pay for Buffett's protection? Gutfreund said they could talk to Buffett and try to convince him he was better off without the preferred stock. When approached, Buffett said that he was amenable. But having Buffett as an investor must have made Gutfreund feel more secure, for in the end he got cold feet.[49]

Thus, Buffett was held to his original deal. Having invested both Berkshire's $700 million and his own reputation in John Gutfreund, by 1991 it was too late to back out.

Thumb-Sucking, and Its Hollow-Cheeked Result

New York City • 1991

On Thursday afternoon, August 8, 1991, Buffett was driving to Reno, Nevada, from Lake Tahoe on his annual weekend with Astrid and the Blumkin boys. He always looked forward to this trip and was in a relaxed and jovial mood. John Gutfreund's office had called him that morning. Where will you be tonight between nine p.m. E.S.T. and midnight? they asked. We want to talk to you.

Thinking this was really unusual, he said he was going to a show. They told him to call Wachtell, Lipton, Rosen & Katz, the law firm that represented Salomon, at seven-thirty p.m. Hmm, he thought. Maybe they're going to sell the firm. It sounded like good news to him. The stock was trading around $37, close to $38, the price at which his preferred stock would convert to common, and he could take his profits and be done with Salomon. Gutfreund, who had a long-standing habit of calling him for advice, might need help in negotiating terms.

Buffett and company whiled away the afternoon in Reno. Buffett reminisced. In 1980 he had been offered the entire contents of a Reno landmark, the Harrah Collection from the National Automobile Museum: 1,400 cars covering acres and acres, a 1932 Rolls-Royce salamanca, a 1922 Mercedes Targa Florio Racer, a 1932 Bugatti coupe, a 1955 Ferrari, a 1913 Pierce-Arrow. It would have cost him less than a million dollars for the whole collection. He had wavered, then passed. A few years later, part of the collection—hundreds of cars—had been gradually auctioned for a total of $69 million. One car, the Bugatti Royale, had recently been sold to a Houston real estate developer for $6.5 million.

By seven-thirty p.m., they had returned to Lake Tahoe. *"We got to the hotel and the rest of them went into the dining room of the steak house. I told them, 'This may take a while.' I found a pay phone outside on the wall and dialed in to the number they gave me."* Buffett expected to be connected with Gutfreund, but Gutfreund was on a plane from London, where he had been trying to save the firm's mandate in an investment banking deal for British Telecom. His flight had been delayed, and Buffett sat on hold for quite a while as a conversation took place on the other end about whether to wait for him to arrive before continuing. Finally Tom Strauss and Don Feuerstein got on the phone to tell Buffett what was going on—or a version of it, anyway.

Tom Strauss, forty-nine years old, was there to protect Gutfreund's flank. He had been appointed Salomon's president five years earlier, during the Great Purge of 1987.[1] Responsible for the firm's international business, he was also charged with the Sisyphean task of licking the perennially lagging equity division into shape. As recent history showed, however, management was not a skill cultivated at Salomon. The warlords reported straight to Gutfreund, to the extent that they reported to anyone at all. Their clout came from their groups' production of revenues. Strauss might be technically president of Salomon, but he had been promoted so high that he now floated distantly above the trading floor like a helium balloon. Periodically, the warlords batted him out of the way.

Don Feuerstein, the head of Salomon's legal department, had once played an important role at the SEC and was regarded as an excellent technical lawyer.[2] He was Gutfreund's consigliere, nicknamed POD, the "Prince of Darkness,"[3] for the behind-the-scenes dirty work he did. Salomon's warlords, accustomed to doing whatever the hell they wanted, worked through lawyers who reported to Feuerstein, including Zachary Snow, the assistant general counsel assigned to the trading operations. The warlord structure made the legal department both powerful and weak; it stewarded the firm's franchise in much the way that everything happened at Salomon: by catering to factions and reacting to events. Salomon's trading culture had embedded itself so strongly that even Feuerstein was a trader, lovingly operating a wine syndicate on behalf of several managing directors. His fax machine constantly spewed forth notices of wine auctions that were a profitable sideline for the syndicate's participants, its product more traded and collected than drunk.[4]

This evening no one was toasting anything, however. Feuerstein knew that Buffett and Gutfreund were friends. He felt awkward giving sensitive information to Buffett when Gutfreund should have been in on the call. Using a set of "talking papers," he and Strauss told Buffett that "a problem" had arisen. A Wachtell, Lipton investigation had uncovered the fact that Paul Mozer, who ran Salomon's government-bond department, had broken the Treasury Department's auction-bidding rules several times in 1990 and 1991. Mozer and his deputy, who was complicit, were now suspended, and the firm was notifying the regulators.

Who the hell is Paul Mozer? Buffett wondered.

Paul Mozer, thirty-six years old, had been swooped up by New York from selling bonds in the Chicago office. He was as intense as a laser beam and started his day before the sun came up, parked in front of a trading screen in his bedroom taking a call from London, then galloped a couple of blocks from his tiny apartment in Battery Park City over to Salomon's enormous new trading room, housed in the gleaming pink-granite space of 7 World Trade Center. There he stared at another set of screens until past sunset, and oversaw twenty traders, most of whom towered over his short, wiry frame. Mozer was smart and hyper-aggressive, but he also struck people as frustrated and insecure, an odd duck. Although he'd grown up on Long Island, he seemed like a greenhorn from the Midwest among the slick New Yorkers. He had been one of Meriwether's arbitrage boys until Craig Coats, the head of the government desk, resigned and he was asked to take over. Now he still worked for Meriwether, but was on the outside looking in at his former gang. Gutfreund, who was under pressure from Buffett and the board to improve the numbers, had added the foreign-exchange department to Mozer's duties; in a few months he had turned a "black hole" around and made it profitable.[5] So Gutfreund had reason to be grateful to Mozer.

While Mozer could be abrasive and condescending, as though he considered other people morons compared to himself, those who worked closely with him were fond of him. Unlike people on Salomon's infamous mortgage desk, he did not abuse trainees by hurling food at them or sending them racing out the door to buy twelve pizzas at a time. Sometimes he even talked to the trainees.

For his labors, Mozer had been paid $4.75 million that year. It was a lot of money, but it was not enough. Mozer was World Cup–competitive, and Mozer was pissed. Something had snapped in him when he found out that his former colleague, Larry Hilibrand, had gotten 23 million bucks from a secret pay deal. He used to earn more than the arb boys,[6] and he now went "ape-shit."[7] He copped such an attitude that he demanded that his department not be audited—as if, somehow, oversight did not apply to him.[8]

Mozer was one of a few dozen men who communed regularly with the U.S. government on its financing needs, talking to the Federal Reserve staff nearly every day and dining quarterly with Treasury Department bureaucrats at the Madison Hotel. Representing Salomon as a "primary dealer," he offered the government market chatter and advice and, in turn, stood first in line as its largest customer whenever the government wanted to sell debt, like a member of the College of Cardinals who sat at the right hand of the Pope.

Only the primary dealers could buy bonds from the government. Everyone else had to do it by submitting bids through the primary dealers, who acted as brokers. This gave the dealers the clout that goes with access and enormous market share. Knowing the needs of both their clients and the government, the dealers clipped off a profit from the gap that lay between the supply and the demand. But with that position of power went a commensurate dose of trust. The government expected primary dealers to behave like cardinals who were celebrating Mass. Yes, they drank first from the communion cup, but they must not get loaded and embarrass the Church.

As an auction neared, the primary dealers would work the phones, polling customers to gauge their appetite for bonds. Mozer's sense of how hot the market was running translated into Salomon's bid. A few seconds before the clock struck one p.m. on the appointed day, the dealers phoned "runners," who stood by a wall of phones at the Federal Reserve Building downtown, waiting to scribble down orders by hand and dash to the Fed clerk's wooden box, where they jammed them inside. At the stroke of one p.m., the clerk placed his hand over the slot. That ended the auction. The government had used this antiquated system for decades.

The inherent tension of the market lay in the opposing interests of the Treasury and the dealers regarding pricing and amounts. The Treasury auctioned only a certain amount of bonds and wanted the highest price, while the dealers wanted to pay just enough in the auction to win a larger share than anyone else yet no more than necessary, for that would hurt their profit on resale. So finely calibrated were these bids that the traders used increments of 1/1,000th of a dollar. That sounds like almost nothing, but clipping off 1/1,000th of enough dollars amounted to a fortune. On $100 million, it was worth $100,000. On a billion dollars, it was worth $1 million. Because government bonds were less profitable than mortgages and corporate bonds, Treasury bonds had to be traded in blocks this size in order for the dealers and money managers to make enough money for it to be worth their while.

Dovetailing with the need for such large trades was the government's need to work with large dealers—those who knew the market well and had the power to distribute a lot of bonds. Salomon was the largest dealer by far. In the early 1980s, the Treasury had allowed any individual firm to buy up to half of a given bond issue for its own account. Salomon commonly "couped" an auction this way, then held on to the bonds long enough to "squeeze" anybody who was "short" Treasuries—having bet that prices would fall—because there were no bonds available for short-sellers to buy to cover their positions. Prices shot up, the short-sellers screamed, the trading floor erupted in cheers, and Salomon gloated over its huge profits and swung a big stick as the King of Wall Street. Couping the auctions fattened the usually thin profits on government bonds and sent a heady mist of testosterone drifting above the formerly stodgy section where the humdrum government-bond traders sat at their desks.

In response to grumbling, the Treasury lowered the limit and said no individual dealer could buy more than thirty-five percent, which made it harder to coup the auction. Smaller squeezes still occurred, but Salomon no longer owned the market unchallenged. Naturally, the new rule was unpopular at Salomon. Since the total of bids exceeded all the bonds on offer, the Treasury also prorated everyone, which meant a firm that wanted thirty-five percent had to bid more than thirty-five percent, a juggling act.

Thus in various ways the clampdown made it harder to profit at the government desk at Salomon. The mist of testosterone did not dissipate, however. Mozer tested the Treasury's patience twice in 1990, bidding more than one hundred percent of all the bonds to be issued. Michael Basham, who ran the auctions, told him not to do it again. Mozer was sent to an "apology breakfast" with Bob Glauber, an undersecretary of the Treasury. He squeaked out some words but did not exactly apologize. He claimed that overbidding was in the government's best interest because it increased demand for bonds.[9] Not mollified, Basham changed the rules so that no individual firm could even *bid* more than thirty-five percent for its own account. The limit on bids meant Salomon might not even get its full thirty-five percent limit of bonds.

Now Feuerstein read Buffett a copy of a Salomon press release to be issued the next morning, which was being explained to all board members that night. It described how Mozer had responded to this stare-down with Basham. He had proceeded to submit unauthorized bids in excess of the government's bidding limit in the December 1990 and February 1991 auctions.

Feuerstein gave Buffett a scripted version of events and told him that he had already spoken at length with Munger, who was at his cabin in Minnesota.[10] Munger had said to him something about thumb-sucking and added, "People do that all the time."[11] Buffett recognized the term "thumb-sucking" as a Mungerism for procrastination but wasn't terribly concerned. Feuerstein did not mention anything else discussed in the lengthy conversation with Munger, and Buffett did not ponder whose thumb was being sucked. Seven or eight minutes later he got off the phone, recognizing that this wasn't the good news for which he had been hoping but not feeling alarmed enough to call Munger immediately. He'd check in with Munger over the weekend, he decided, but for now he was going to enjoy Lake Tahoe. Then he wandered back to join Astrid and the Blumkins in the dining room, where they were having a steak before seeing Joan Rivers and Neil Sedaka perform.

While Buffett was watching the show, John Gutfreund's plane from London finally landed. Gutfreund, Strauss, and Feuerstein had a conversation late that evening with Richard Breeden and Bill McLucas, top

officials at the SEC. The three of them also placed a call to Gerald Corrigan, the beefy six-foot-four president of the New York branch of the Federal Reserve.

Using a different set of talking papers, Gutfreund and Strauss told Breeden, McLucas, and Corrigan more of the story than Salomon's board had just heard. Mozer had not just overbid. To get around the thirty-five percent limit, at the February 1991 Treasury auction he had entered a fake bid in the name of a customer and stashed the bonds he got in Salomon's account. In fact, he had placed more than one false bid in that auction. As to why these had not been reported earlier, they explained the delay as an oversight. Yet the SEC and the Treasury were in the midst of investigating Mozer, for he had pulled a huge squeeze in the May two-year-note auction. His actions were under intense scrutiny by regulators. That should have been true at Salomon as well. How could the delay have been an oversight? Now, the regulators had to consider whether this confession indicated some major systemic problem at Salomon.

No matter what, these admissions were going to be highly embarrassing to the Treasury and the Federal Reserve. Corrigan was shocked that the firm had not come to him saying that it had already fired Mozer and created a remedial program that involved instituting all sorts of new controls. But he expected something like that to be announced within twenty-four or forty-eight hours, after which he could "keep them on probation for a while and hope that would be the end of it." He told Gutfreund and Strauss, "patiently and dispassionately," as he recalls, that they had an immediate obligation to release this information to the public. Based on what he knew, he surmised that the incident could blow up into a "very, very, very significant problem."[12] It seemed to him, however, that Strauss and Gutfreund did not fully grasp this. Indeed, with hindsight, the fact that Gutfreund had gone off to London, thus placing his ability to participate in the calls with Buffett, Munger, and the other directors in the hands of an airline, was itself a telling sign.

The next day, Friday, August 9, Buffett was enjoying himself with Astrid and the Blumkins, walking along the board sidewalks of Virginia City, the old Western gold-rush town. He called in to his office. Nothing urgent was happening. Nobody at Salomon had called him. Salomon had put out the press release describing the events in fairly bland terms. The stock had fallen five percent, however, to $34.75.

Buffett called Munger on Saturday at his cabin on Star Island in Minnesota. Munger flatly told him a much more detailed and alarming story. Feuerstein, reciting from the list of "talking points," had said that "one part of the problem has been known since last April." While these same words had been read to the other directors, including Buffett, they had the effect of technically informing without really enlightening.[13] But Munger picked up instantly on bullshit legalese and the passive voice, which irritated him. What did that mean, "has been known"? What exactly had been known? And by whom?[14] When pressed, Feuerstein gave Munger a much fuller description of events, similar to what Corrigan had been told.[15]

As Feuerstein recounted, Mozer had gotten a letter from the Treasury Department in April saying they were investigating one of his bids.[16] Realizing that the game was up, on April 25 he had gone to his boss, John Meriwether, and made a confession of sorts. In February, to get around the thirty-five percent limit, he had not only bid in Salomon's name, he had also submitted phony bids under real customers' names.[17] Mozer swore to Meriwether that this was the only time, and he would never do it again.

Meriwether had recognized immediately that this was "career-threatening," had said so to Mozer, and had reported the situation to Feuerstein and Strauss. On April 29, the three of them went to Gutfreund and told him what Mozer had confessed. Gutfreund, they said later, had been red-faced and pissed off when he heard the news.

Therefore, in April, Gutfreund knew. Strauss knew. Meriwether knew. Feuerstein, the general counsel, knew. They all knew.

Feuerstein had informed Gutfreund at the time that Mozer's actions appeared criminal. He didn't believe that the firm technically had a legal reporting requirement. Still, Feuerstein was sure that Salomon would run seriously afoul of the regulators if it didn't do something, and therefore the Federal Reserve must be told. Gutfreund said it would be taken care of. Curiously, however, no specific plans were made to march down to

the Federal Reserve's ornate Italianate building and give Jerry Corrigan the news. Moreover, having concluded that the phony bid was a "one-time, aberrant act," they had decided to leave Mozer in charge of the government desk. Hearing this, "Well, that's just thumb-sucking," Munger had said. "People do that all the time." He later explained that by thumb-sucking he meant "sitting there thinking and doggling, musing, and consulting, when you should be acting."[18]

Munger told Buffett that he had challenged the press release: Shouldn't management's prior knowledge be disclosed? Feuerstein said that, yes, it should be, but the decision had been made not to because Salomon's management thought that disclosure would threaten the company's funding. Salomon had tens of billions of short-term commercial paper debt that rolled over day by day. If the word got out, lenders would refuse to renew. To Munger, "funding difficulties" was shorthand for "financial panic."[19] Lacking the leverage to insist, he had given in, but he and Buffett now agreed that more disclosure was required. They mentally braced themselves for what would follow.

Two days later, on Monday morning, August 12, the *Wall Street Journal* reported the alleged details, with a blaring headline: "The Big Squeeze: Salomon's Admission of T-Note Infractions Gives Market a Jolt—Firm's Share of One Auction May Have Reached 85%; Investigations Under Way—How Much Did Bosses Know?" It mentioned the possibility of "civil charges of market manipulation, violations of the antifraud provisions of securities law, misrepresentations to federal authorities," "books and records violations," and "criminal charges" for committing "both wire and mail fraud."[20]

Gutfreund called Buffett, sounding calm. Buffett thought that he seemed to believe the whole situation meant "a few points on the stock." In light of the disastrous article, Buffett thought this attitude was unrealistic, a sign that Gutfreund believed the whole affair could somehow be finessed.[21] It seemed of a piece with Gutfreund's unwarranted composure the previous week. Buffett pressed for more disclosure. Salomon's treasury division was beginning to have trouble rolling over its commercial paper, meaning the firm's lenders were starting to show signs of nervousness.[22]

Meanwhile, Munger was trying to get in touch with Wachtell, Lipton's Marty Lipton, who was John Gutfreund's indispensable best friend as well as Salomon's outside counsel. So entwined with Salomon was Lipton that the speed-dial buttons on Donald Feuerstein's phone rang his wife, the Sotheby's and Christie's auction houses, and Marty Lipton, not necessarily in that order.[23] Munger knew that Lipton and his telephone were as inseparable as Buffett and his *Wall Street Journal.* Cell phones still being so rare, however, that even name partners of major law firms did not use them, Munger relied on Wachtell, Lipton's office, which, he would later observe to the SEC, had the "finest phone system for reaching Marty Lipton at any hour of the day or night that I have ever seen in the history of the world…. I think even if he was engaged in sexual intercourse, you could get through to him."[24]

Whether Lipton was horizontal when reached by Munger was never specified, but Munger badgered him for a follow-up press release, saying the first had been inadequate. Lipton agreed that the board would hold a telephone meeting to discuss it on Wednesday.

Not surprisingly, Jerry Corrigan at the Federal Reserve was even less satisfied than Munger with Salomon's muted response. On Monday, August 12, he decided to have Peter Sternlight, one of his executive vice presidents, draft a letter to Salomon Inc. stating that the firm's actions had called into question its "continuing business relationship" with the Fed, which was "deeply troubled" by the failure to make a timely disclosure of what the firm had learned. Salomon would have ten days to report on all "irregularities, violations, and oversights" that it had discovered.

In light of Corrigan's earlier conversation with Strauss and Gutfreund, this letter would be a death threat. If the Fed cut off Salomon's business relationship with the government, customers and lenders would desert in droves. The consequences would be huge and immediate.

Salomon had the United States' second-largest balance sheet—larger than Merrill Lynch, Bank of America,

or American Express. Nearly all of its loans consisted of short-term debt that was callable by lenders in days or at most weeks. Only $4 billion of equity supported $146 billion of debt. Dangling off the side of the balance sheet on any given day were tens more billions, perhaps as many as $50 billion a day, of uncleared trades—transactions executed, but not yet settled. These would stall midair. Salomon also had many hundreds of billions of derivative obligations not recorded anywhere on its balance sheet—interest-rate swaps, foreign-exchange swaps, futures contracts—a massive and intricate daisy chain of obligations with counterparties all over the world, many of whom in turn had other interrelated contracts outstanding, all part of a vast entangled global financial web. If the funding disappeared, Salomon's assets had to be sold—but while the funding could disappear in a few days, the assets would take time to liquidate. The government had no national policy to provide loans to teetering investment banks because they were "too big to fail." The firm could melt into a puddle overnight.[25]

Corrigan sat back in his chair, confident that once Salomon received Sternlight's letter, management would understand the loaded gun cocked at its head, and would respond accordingly.

Within Salomon, after the press release and the *Wall Street Journal* story, rumors were running wild. Late Monday afternoon, it held an all-hands-on-deck meeting in its huge auditorium on its lowest floor. Nearly five hundred people crowded in, while hundreds, maybe more, from upstairs and from Salomon offices around the world, watched on television screens. Gutfreund and Strauss walked the audience through a baked-Alaska version of events, a crisp well-done meringue of a surface that hid the chilly surprise. Afterward, Bill McIntosh, the head of the bond department, was summoned upstairs to Gutfreund's office, where he found Gutfreund, Strauss, and Marty Lipton, "three very scared men." Earlier in the day he had been calling for Gutfreund's head, but unexpectedly, they asked what he thought of the situation. McIntosh demanded more explanation; he felt the all-hands version and the press release had been misleading.[26] He and assistant general counsel Zach Snow ended up getting drafted to write another press release.

The next morning, McIntosh and Snow began drafting. Around midday, McIntosh went to tell Deryck Maughan, the vice chairman of investment banking, who had just come back from running the firm's Asian operations, what was going on. Maughan knew he was hearing the harbinger of a disaster. He went to find Snow and pounced on him, saying you'd better be telling the whole truth to a vice chairman.

But Snow had no intention of hiding anything from Maughan. He started talking, and a tale unfolded of what had transpired behind the scenes. He explained that in April, after Mozer made his first confession about the February auction, Meriwether had pleaded that Mozer not be fired, even though Feuerstein had said he believed Mozer's actions were criminal in nature. Snow had been told—in confidence—about the situation. A month later, Mozer still ran the government desk; Feuerstein was nagging Gutfreund to come clean; Gutfreund was telling him that he would. But in fact no one had told the government. Meanwhile, Meriwether was charged with keeping an eye on Mozer, who had supposedly reformed.

Then Mozer had asked for funding to bid on more than one hundred percent of the two-year-note auction in late May. Even though some of the funding was supposedly to put in bids for customers, John Macfarlane, Salomon's treasurer, had become alarmed. He thought it an obvious red flag and called a meeting with Snow and Meriwether. Snow had gone to Feuerstein, his boss, who agreed that it was an outrageous request. They had decided not to give Mozer the funds.[27]

But Mozer had secretly juggled the bids and money anyway.[28] Managing to evade his overseers, he put in one suspicious bid and pulled off an enormous auction coup. Salomon wound up with eighty-seven percent of the Treasury bonds, and it and a small group of customers controlled the two-year notes afterward. The price shot up.[29] Others' losses from the "squeeze" topped $100 million, and several small firms suffered so severely that they filed for bankruptcy.[30]

Within Salomon, the squeeze had caused considerable angst. In the press, the firm was painted by its competitors as the pirate of Wall Street. The board members, including Buffett, had expressed outrage at a meeting that Salomon had cornered the market for two-year notes. Feuerstein had had Snow commence an internal investigation of the squeeze in June. As it turned out, Mozer had held a dinner with two hedge-fund

customers right before the auction, and these customers had placed bids involved in the squeeze. With hindsight, the dinner pointed to possible collusion and market manipulation. But in the absence of proof, Mozer explained it away.[31] Gutfreund had set up a meeting to see his overlords at the Treasury and the Fed to mend fences over the squeeze. When he went to see Glauber in mid-June, he sat on the sofa puffing a cigar. He offered a *mea culpa* to Glauber for the aftereffects of the squeeze and offered to cooperate with the Treasury—but defended Mozer against allegations of intentionally rigging the May auction. And he made no mention of what else he knew, leaving out anything about Mozer's false bids in the earlier auction. In response to the squeeze and to the earlier run-ins with Mozer, however, unbeknownst to anyone at Salomon, the SEC and the Antitrust Division of the Justice Department began investigating the firm anyway.

About a week after the Glauber meeting, Gutfreund, Strauss, and Meriwether met to consider whether the firm should now come clean with the Treasury about the February auction. Because the hue and cry over the squeeze had not abated, they decided to keep silent. They felt the time was not right. Days later, the SEC sent Salomon a letter asking for information about the May auction. This was the first indication that the problem of the two-year note auction might be escalating instead of fading away. Anyone receiving this inquiry letter might reasonably have gotten nervous about the SEC's sudden interest in the operations of the government-bond trading desk.

Two days later, Gutfreund had flown to Omaha to visit Buffett, while on his way to Las Vegas to see some property that Salomon had financed. In telling the backstory to Maughan, Snow, who did not know about this trip, left it out. Buffett would later fill in these details.

"I picked him up at the airport. John was in the office for about an hour and a half. He spent about an hour making some calls, then we talked for about half an hour. He was sort of pacing around. We didn't talk about anything in the end. It's a pain in the neck to stop in Omaha, yet he really had nothing to say."

Somewhat baffled as to the purpose of the visit, Buffett took Gutfreund to a quick lunch, then for a visit to the recently acquired Borsheim's jewelry store, near the Furniture Mart. The proprietor, Ike Friedman, Mrs. B's nephew, was cast in the same mold, and like her, somewhat larger than life.

Friedman took Gutfreund to Borsheim's "center island," where the really expensive goods were displayed. Gutfreund picked out a $60,000 item for Susan. It mattered to Buffett, Gutfreund said later, that he had made a purchase.[32] Then he glanced at the expensive watches strategically displayed just behind the center island, and strolled over to look at the merchandise. Friedman preferred selling very expensive jewelry to timepieces. "Oh, watches," he said to Gutfreund. "You lose them, you break them. Why pay a lot of money for a watch?" He looked at the fancy wristwatch on Gutfreund's wrist and asked Gutfreund what he paid for it. Gutfreund told him.

"$1,995,"[33] Friedman repeated. "Well. You got taken, John."

"And you should have seen the look on John's face."

Wearing the watch on which he got taken, Gutfreund returned to New York at the end of June to present the burgundy-colored satin-lined Borsheim's box to Susan.

Within days—by early July—the Antitrust Division of the Justice Department formally notified Salomon that it was investigating the squeeze in the May two-year-note auction, which the letter from the SEC had inquired about. Gutfreund now got serious, said Snow, and hired Marty Lipton's firm Wachtell, Lipton, Salomon's outside counsel, to begin its own investigation, on behalf of Salomon, of the circumstances surrounding the May squeeze.[34] People within Salomon had mixed views about the squeeze. Some said the Treasury market was inherently designed to be collusive. The job of a dealer was to work with its customers to distribute huge blocks of bonds into the market. Little squeezes happened all the time. This one was big. So what? The Treasury was picking on Salomon. It was the years of hubris, the wildness depicted in *Liar's Poker,* the gradual erosion of power that had made Salomon a punching bag.[35]

But others were furious that Mozer had once again defied the Treasury. They were baffled that he would pull a huge squeeze when it was well-known that he and Basham were already at loggerheads. Later, these questions would increase. Why did Mozer—on probation, told his behavior had been "probably criminal"—taunt the Treasury so outlandishly that his coup splashed headlines all over the financial press, in a way guaranteed to draw even more attention to himself?[36]

Snow, who reported to Feuerstein on trading operations, had been in charge of the internal investigation involving the May squeeze. In June, he was out of the office some of the time with knee surgery, and neither he nor Feuerstein was involved in the Glauber meeting, nor knew about the subsequent decision to further delay reporting Mozer's actions.[37] But once Snow returned full-time to the office in July, increasingly he started to realize that he was out of the loop. People began disappearing into meetings. The situation preyed on his mind. One night he had a dream. He walked into Feuerstein's office the next morning and said he had dreamed that he and Feuerstein had actually called Warren Buffett and told him about the false bid, because they were both so frustrated that Gutfreund and Strauss had done nothing about it.

Feuerstein looked at Snow cross-eyed. "No, no," he said. "It won't come to that." Feuerstein was still trying to influence Gutfreund. Going to Buffett would be throwing that relationship away.[38] Snow had not intended his account of the dream to come across as a subtle threat to bypass his boss and call Buffett, but he thought Feuerstein seemed to have taken it that way.[39]

A few days after beginning their work, the Wachtell, Lipton investigators had returned with a preliminary report on the May squeeze. Only now, however, were the investigators told that senior management had known since April that Mozer had submitted an unauthorized bid in the February auction.

With hindsight, Salomon's actions looked far worse. After learning of Mozer's false bid in February, which Feuerstein had said was criminal in nature, management had taken Meriwether's vouching for Mozer and Mozer's word that he had never done it before, without investigating further or disciplining Mozer in any way. They had left him in place, which allowed the May squeeze to occur. Once it did occur, Salomon was in more trouble, because telling the government they knew about Mozer's previous phony bids but had only now reported them would probably have conveyed the sense that Salomon was a gang of thieves. Worst of all, Gutfreund had met with Bob Glauber in mid-June about the May squeeze, but had said nothing about all these earlier events. Now, as Snow explained to Maughan, when things started blowing up, everyone involved started excusing the original delay by saying the matter was a single minor event that caused no customer any harm, cost the government nothing, and didn't make sense, even from the standpoint of the trader involved.[40] Given the pressure of business, Gutfreund said, he simply hadn't deemed it that important.[41]

Unfortunately, he was wrong about that. The Wachtell investigators had discovered that the February auction was not the only one that Mozer had rigged. They now knew that five auctions had been compromised.[42] Two of these false bids had only just been unearthed. Snow concluded by telling Maughan about the previous evening's meeting with all the inside and outside lawyers that had followed the half-baked explanation given to all employees. Snow had argued that management's prior knowledge had to be disclosed. He was batted down. "I'm going to take a lot of heat for this," Gutfreund told him. "I don't see why you can't do your part."[43]

Maughan had been deeply concerned even before hearing all this new information from Snow. Seven days had passed since the first press release—seven days that included a salvo of stories in the media, the firm's falling stock price, trouble rolling over the commercial paper, the discovery of new false bids, and Gutfreund and Strauss feeding baked Alaska to the troops at an internal meeting. By the time Snow finished telling him all of this additional history of what Mozer had done and what others had not done, Maughan blew up and started pounding Snow to make sure there was nothing else. Then he went down to the trading floor and confronted Meriwether, Mozer's boss. "What the hell is going on, John?" he asked.

Meriwether hung his head. "It's too late," he said. He refused to talk further.[44]

Too late or not, Snow and McIntosh had to spend the evening drafting a second press release to try to explain things. That same night, Strauss and Gutfreund called Corrigan to respond in some fashion to the Sternlight "cocked gun" letter, which the firm had received that morning. Realizing that he was on a speakerphone, Corrigan assumed that a room full of undisclosed lawyers was listening to everything he said. The conversation started out with Corrigan being told that the firm had done an investigation and that "industry practice" of other firms was to pad their bids for new issuances of municipals and agency securities to get a bigger share. Corrigan viewed this opener as "a diversion, or worse." It had nothing to do with the squeeze, nor with the more serious issue of phony bids—in fact, nothing to do with the Treasury market. His Irish temper ignited. He yelled into the phone at Strauss and Gutfreund: "I'm sure you've got a room full of [bleeping] lawyers. This is your last chance. Is there anything else you have to tell me?" They began to describe the other violations.

Corrigan meant to put an end to the obfuscations and rationalizations. "Well, goddammit," he said, "get yourselves together and release all of this information to the public immediately. I don't want to hear anything else from you, just get that goddamn press release out."[45]

Late that evening, the lawyers met with senior management to go over the press release. Gutfreund and Strauss arrived. McIntosh said there needed to be heads on a plate. This idea was quickly dismissed, but other people, including a board member, Gedale Horowitz, and Steve Bell, who ran Salomon's Washington office, pressed for fuller disclosure. Nobody could get hold of Buffett, but they reached Munger on the phone, who said, Look, you can't put this second press release out without names. Gutfreund's name went in automatically. Everyone knew that Strauss was not in charge and had not made any of these decisions; he had simply been present in the room. But he had gone along with his boss. His name went in. Feuerstein had tried to get Gutfreund to report it. Munger said that his name should stay out.

Meriwether was known as a brilliant, careful manager who was unusually close to his team and rarely left the desk. He had reported the matter exactly as he should.[46] On the other hand, he had vouched for Mozer, pleaded his cause, then left Mozer's responsibilities unchanged. When Munger said Meriwether's name should go in, says McIntosh, Meriwether, listening and seeing the lawyers write down his name, said, "Oh, my God, I'm doomed."[47]

The next day, Wednesday, August 14, a telephone meeting took place in which the board heard some of the story that was given to Corrigan the night before. Two board members called in from Europe, one from Alaska, Buffett from Omaha, and Munger from Minnesota to hear the first "orderly and halfway complete description" of the Mozer affair. Inside Salomon, a palace coup was well under way, with senior managers talking to one another on the assumption that Gutfreund and Strauss would have to resign.[48] The arbs wanted Meriwether as CEO, which was clearly unacceptable to many people given that he was Mozer's boss; the arbs then floated the idea that Deryck Maughan might serve as co-CEO with Meriwether. Meanwhile, no one on the board conference call said anything about management changes; they merely debated the wording of the new press release, which contained three pages of details and added the two additional violations that had been discovered by the investigators.

The draft release admitted that management had known about the February bids as far back as April but said that "the press of business" kept Salomon from reporting Mozer's actions to the authorities. Buffett called this ridiculous, and as the board debated, Munger became incensed. Eventually, the press release was rewritten to say that the failure occurred due to "lack of sufficient attention to the matter," leaving the impression that the names in the press release were the people who were not paying attention. Arrangements were made to put out the release that night.

As the meeting concluded, the board thought it had the full story. A number of things had not been mentioned, however. One was the "cocked gun" letter just received from Peter Sternlight at the Fed. Another was the June meeting with Bob Glauber at the Treasury Department, at which Gutfreund had failed to mention Mozer's earlier activities.

That afternoon, Salomon held another all-hands-on-deck meeting in the auditorium. Bill McIntosh, who ran the daily sales meeting, stood at the front as usual and had the unenviable job of reading the new press release to the employees. With Gutfreund and Strauss in the front row, directly opposite him, McIntosh said, This is what happened. If customers call and want to know what's going on, just tell them. Make no excuses for senior management, don't apologize for them, they did what they did.

Afterward, the salespeople piled into McIntosh's office. What are we supposed to *say*? they begged. Don't make excuses for senior management, McIntosh repeated. In my view they're not going to last very long; they're gone; they're yesterday's news; we've got to keep this place together so we can survive and play another day. Focus on that.[49]

That evening the government-bond department showed up on the terrace of McIntosh's duplex overlooking the Hudson River in the West Village for a previously scheduled barbecue. Eerily, Tom Strauss dropped by—and the temperature on the deck fell several degrees.[50] Instead of hanging around until ten or eleven swigging beer as usual, everyone cleared out by eight o'clock.

The morning after the press release appeared, Thursday, August 15, rumors floated that the long knives were out and McIntosh was a goner. He stayed on the floor all day, figuring that Gutfreund and Strauss wouldn't fire him for insubordination in front of the whole trading floor. Meanwhile, market confidence in Salomon cracked. The stock, which had been sinking all week from the previous Thursday's close of almost $37, slumped to $27. It was trading down because shareholders were beginning to suspect a bigger problem than Mozer's misdeeds: a "run on the bank." And, indeed, one was beginning to take place.

Photo Insert Three

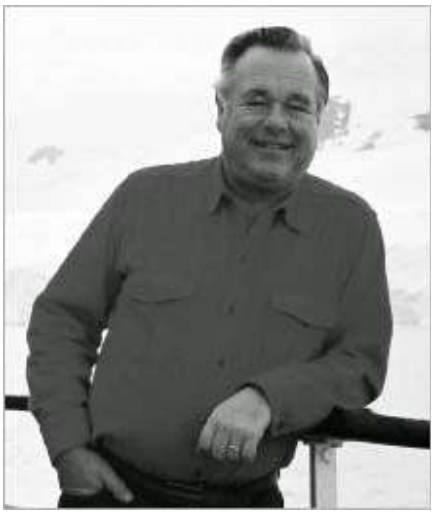


Image 48
Chuck Rickershauser, the lawyer who said around 1976 of the convoluted business created by Buffett: "There's got to be an indictment in here somewhere."



Image 49
Tooting a trumpet in his bathrobe. Ever since his boyhood fiasco at Rosehill Elementary, Buffett refuses to play the "echo."



Image 50
Charlie Munger reading with his grandchildren.



Image 51

Buffett partnered with Sharon Osberg at his first bridge tournament, the 1994 world championships in Albuquerque, NM. They qualified for the finals but then withdrew because Warren was too exhausted to continue. The World Bridge Federation was appalled.



Image 52

Buffett and Bill Gates at their first meeting, in July 1991, at the Gates family compound on Washington's Hood Canal.



Image 53

In 1993, Buffett places his hand on a computer mouse for the first time. He was "fearless," says Sharon Osberg.



Image 54
Buffett and "Mr. Coca-Cola" Don Keough sit surrounded by Buffett's favorite beverage (and Berkshire's largest stock holding).



Image 55
With son Howie and daughter-in-law Devon. They were married in 1982.



Image 56
Buffett's longtime friend Bill Ruane, who died in 2005.



Image 57
On Easter Sunday 1993, Bill Gates diverted his plane to Omaha and fooled Melinda French into a surprise meeting with Warren and Astrid at Borsheim's to choose her engagement ring.



Image 58
Warren and Astrid attend the May 1996 wedding of Peter Buffett and Jennifer Heil.



Image 59
Buffett takes the wheel of a golf cart in Sun Valley, and Susie and Kay Graham take their lives in their hands.



Image 60
Munger and Buffett answer reporters' questions during the Berkshire Hathaway sharehold meeting weekend.



Image 61
Buffett at Sun Valley with friends Diane von Furstenberg, Herbert Allen, and Barry Diller.



Image 62

Right to left, Coca-Cola CEO Roberto Goizueta, Bill Gates, and Warren Buffett on the 1997 panel moderated by Don Keough at which Gates offended Goizueta by paraphrasing Buffett's view that Coca-Cola was easier to run than a technology company.



Image 63
Susie Jr. points out her father's unobtrusive baseball jersey number—1/16 because stocks were once priced in "teenies"—1/16ths of a dollar.



Image 64
Warren and his sisters, Roberta Buffett Bialek (left) and Doris Buffett.



Image 65
Totally focused on bridge while playing for the Corporate America bridge team against the U.S. Congress team in 1989.



Image 66
With Kay Graham at her home on Martha's Vineyard.



Image 67
Improvising a toast at Bill and Melinda Gates's wedding reception in 1994.



Image 68
While on vacation with the Gateses during the Long-Term Capital Management crisis in 1998, Buffett tries to get satellite phone reception in the Grand Canyon.



Image 69
Reunion of the original Graham Group in 1995. From the left: Buffett, Tom Knapp, Munger, Roy Tolles, Sandy Gottesman, Bill Scott, Marshall Weinberg, Walter Schloss, Ed Anderson, Bill Ruane.



Image 70
Warren and Susie as Mickey and Minnie Mouse at an ABC-Cap Cities Event, 1997.



Image 71
Buffett rides a camel in China during a 1995 trip with Bill and Melinda Gates.

The pyramided nature of the balance sheet of any investment bank was well understood by investors. Salomon was almost uniquely large, bigger than the biggest life insurer, second only to Citicorp in assets. As a major firm, Salomon's debt desk had always acted as a broker to buy and sell the firm's own medium-term notes. Suddenly, on Thursday, a long queue of sellers and no buyers appeared. In order to honor the sell orders, the traders had to buy the notes with Salomon's own cash. Since nobody else wanted to buy the notes, they now amounted to merely pieces of paper that said that Salomon would pay Salomon in the future from Salomon's own vault. But as the vault emptied, the notes were going to be worthless unless something changed. To conserve cash, the traders began to deter sellers by offering a lower price.[51] Sellers quickly figured out what was going on. The line of sellers wanting to sell notes grew longer and longer.

By the end of the day, Salomon's traders had reluctantly bought $700 million of the firm's own notes. Then they put up the "closed for business" sign, like a Depression bank snapping shut the teller's window.[52] No other firm would buy Solly's debt either. And with that, Salomon was teetering precariously close to the edge of bankruptcy.

The next morning, Friday, August 16, the *New York Times* front page ran a photograph of Gutfreund with the headline "Wall Street Sees a Serious Threat to Salomon Bros.—ILLEGAL BIDDING FALLOUT —High-Level Resignations and Client Defections Feared—Firm's Stock Drops."[53] The story featured prominent photographs of Gutfreund and Strauss. The two of them and Marty Lipton called Corrigan's office in New York and were patched through to Federal Reserve Chairman Alan Greenspan's office in Washington, where Corrigan and Greenspan had been on a conference call with Treasury Secretary Nick Brady since dawn "trying to figure out who the hell we're going to get to come in and run the firm."[54] Strauss, a longtime friend, knew they were in trouble when Corrigan greeted him as "Mr. Strauss."[55] The irate Federal Reserve Bank president, assuming that the board knew about the Sternlight death-threat letter, had been shocked by the latest press release they had issued. He interpreted their failure to take any action—such as firing senior management—as a sign that Salomon's board was defying him.[56]

Gutfreund said that he was going to resign. "What about Strauss?" asked Corrigan. With this, it became clear that, as far as the New York Federal Reserve was concerned, resigning was not optional, it was mandatory.[57]

Gutfreund then called Buffett. It was six forty-five a.m. Omaha time and Buffett was still asleep when the phone rang. But he came to consciousness rapidly as Gutfreund, with Marty Lipton and Tom Strauss on the line, laid out the problem. "I just read my own obituary," Gutfreund said, referring to the *New York Times.* His picture on the front page had done what the sequence of events—until then—had not. A freighted pause

ensued, as Buffett understood what they were really asking him. He told them that he would consider taking over the job of chairman on an interim basis but needed to see the *Times* story first. He wanted a few minutes to think but was pretty sure he needed to go to New York. He told them that he would be there as soon as he could that afternoon. Marty Lipton said that it was unthinkable for Meriwether not to be fired immediately. Buffett insisted that they do nothing until he could at least talk to Meriwether.

He hung up, called Gladys Kaiser at home, and told her to cancel a lunch with the president of Grinnell. Then he said, Call George Gillespie in Martha's Vineyard. Cancel my trip for the weekend and put the pilot on alert that we may be going to New York.

By the time he arrived less than an hour later at the office, still empty of staff, to read the "obituary" on the fax machine, he had made up his mind.

Meanwhile, Gutfreund and Strauss had told Corrigan that Buffett was considering becoming interim chairman. "As far as I was concerned, they were both being less than candid with me," Corrigan says. "I want to talk directly to Warren Buffett immediately," he told them.[58] "I didn't know him personally, but I certainly knew his reputation."

Buffett for his part needed to find out how Jerry Corrigan would feel if he did take the job. It took some time to track down Corrigan in Washington. He did not call Buffett back until after eight-thirty a.m. CST, after the market had opened. Salomon's stock did not open for trading, which told investors that major news was pending.

When Corrigan talked to Buffett, he said something about his willingness to be a little more lenient about the "ten-day schedule" if Buffett took the job. Though Buffett did not grasp what Corrigan meant, he gathered that the Federal Reserve must have been asking for information about something. Corrigan sounded angry. He said that he would make no promises about anything if Buffett did take the job, and insisted that Buffett see him personally to talk about the role of interim chairman in New York that very night.

At Salomon, all that the trading floor knew was that Buffett was supposedly flying in to rescue the firm and that Salomon's stock was not trading. People speculated that he was considering Meriwether as a possible replacement for Gutfreund. The arb boys were crying, "We can't lose John." J.M. himself was nowhere to be seen. The trading floor stewed and seethed, but the stock was unable to open for trading because Buffett had told them to hold the press release, which announced that Gutfreund was prepared to resign and that Buffett was temporarily taking over as chairman, until after he arrived. With the stock hanging in limbo, news stories poured out on television that itemized Salomon's problems and speculated what would come next.

By early afternoon, Buffett had appeared. Once in the opulent executive suite on the forty-fifth floor, he hit the button on the press release, and the traders opened Salomon's stock.[59] It traded furiously for the final part of the day, closing up a dollar to almost $28.

After the market closed, Buffett went down to the amphitheater for a meeting with the managing directors. Gutfreund and Strauss took the stage and Gutfreund said that they were prepared to resign.[60] His face remained impassive, as usual. Strauss, noted Buffett, seemed shaken. Afterward, the senior management retired to the enormous conference room on the executive floor. Eric Rosenfeld and Larry Hilibrand, the key members of Meriwether's team, bullied their way into the meeting.[61] There, next to the wall of glass overlooking the two-story football-field-size trading floor where the trouble had begun, the top brass of Salomon began to thrash out what to do next.

People holding different viewpoints started kicking Meriwether around like a soccer ball. Nobody disputed that he had done the right thing by reporting Mozer's actions. The debate was whether he should have done more. Some people felt, as McIntosh articulated, that he was simply too close to the flame.[62] Meriwether had a reputation as a tight manager; in his areas, as one said, "no sparrow fell that Meriwether didn't see it." Meriwether had not been involved in the false bids, but how could Salomon expect clemency while keeping him on? It seemed obvious to them that the government would treat the firm more harshly if he stayed.

Although Strauss and Gutfreund were not present, they, too, had told Buffett that they thought Meriwether should resign along with them.[63]

With uncanny timing, Meriwether himself arrived and leaned silently against a wall, watching as most of his peers demanded his head. Buffett had told Marty Lipton earlier that day that, unlike Strauss and Gutfreund, Meriwether must not be forced to resign (unless he chose to do so voluntarily). Buffett wanted time to deliberate. He did not agree with those who thought Meriwether had to go. Meriwether had not sucked his thumb; he had reported Mozer to Gutfreund and Strauss. It was not so much that they thought Meriwether had done anything wrong, Buffett decided. Rather, they were panicked. Their lives were simply going to be so much easier the next morning if Meriwether was gone. The consequences of putting his name in the press release now loomed large to Buffett.

After the meeting, he climbed into a waiting black Town Car with Gutfreund and Strauss and they wove their way through downtown rush-hour traffic to Corrigan's office.

Corrigan had felt it necessary to maintain his previous schedule in the interest of secrecy. He arrived directly from playing in the Federal Reserve's annual officers-versus-employees softball game, his tall frame clad in jeans, sneakers, and a Liberty Street Blues T-shirt.[64] But the chill in the air was such that "he could have been wearing black tie and I wouldn't have noticed, given my state of mind," Tom Strauss later said. Buffett opened disarmingly: "Look, the only thing I owe personally is $70,000 on a second home I have in California because the interest rate is cheap." He promised complete cooperation with the regulators. Corrigan refused to be charmed. Interim chairmanships usually didn't work very well, he said. Buffett had better not seek help for Salomon from his "Washington friends."

Corrigan demanded a thorough housecleaning. Buffett agreed to all sorts of fundamental changes to strengthen Salomon's policies, controls, and documentation. "His verbal commitment to me was absolute," says Corrigan, "and I trusted him."

Nevertheless, Corrigan made no promises. Giving Buffett a steely look, he said, "Prepare for all eventualities."

"It was a Dutch-uncle type of talk. It was cordial enough, but the Dutch-uncle aspect was there. We owed more money than virtually anybody in the country, and we owed it on very short terms. I tried once or twice to suggest how worried I was about the funding problem, hoping he might figuratively put his arm around me a little bit, but he didn't do it. Prepare for all eventualities—that was something I didn't know quite how to do. I certainly thought of strychnine or something of the sort."

Then Corrigan sent Buffett out of the room so he could talk to Gutfreund and Strauss. "You have a problem with an employee in your firm," he said, "that's his problem. You've got a problem with an employee in your firm and you fail to do something about it, that's your problem."[65] Then, with tears in his eyes, he told them how much he regretted ending their careers.

On the way out, while "Tom was in much more of a state of shock," Gutfreund again seemed "quite composed."[66] He seemed to be blaming Corrigan for forcing him to resign. "I'll be damned if I'm going to grant him absolution," Gutfreund said.[67] They rode back across downtown to Salomon, then went off to have a steak in a back room at Joe & Rose's steak house on 49th Street. Strauss and Gutfreund insisted again that Meriwether had to go.[68] They talked about the candidates for chief operating officer. Close to midnight, Buffett stumbled back to Katharine Graham's apartment at the UN Plaza, and tried to sleep.

Later, many people wrote many things about why Buffett took the job. Some said it was his $700 million, and some said it was his duty to the other shareholders. "Somebody had to take the job," he said. "I was the logical person." Other than the people who were resigning, no one had more at stake. But it was not just the money, it was what he cared about just as much: his reputation. When he invested in Salomon and gave John Gutfreund his imprimatur, it was like nailing that reputation to Salomon's door like a shield.

Buffett had told his children, "It takes a lifetime to build a reputation and five minutes to ruin it." He thought of that risk primarily in terms of his own actions. Yet the people he had endorsed had put his reputation at risk. If he had made a mistake, it was to invest in Wall Street yet distance himself from it by relying on someone else; his judgment about Gutfreund's ability to oversee the runaway culture of Salomon was flawed.

By this time Buffett was the second richest man in the United States.[69] Berkshire's per-share book value had grown by more than twenty-three percent a year for twenty-six years. His first group of partners had an incredible $3 million for each $1,000 they had put in. Berkshire Hathaway was trading at $8,000 per share. Buffett had a net worth of $3.8 billion. He was one of the most respected businessmen in the world.

At some point during that long, horrible Friday, he recognized with a sickening jolt that investing in Salomon, a business with problems over which he had essentially no control, had from the beginning put all that at risk.

He did not want to become interim chairman of Salomon. That way lay greater peril. If Salomon went down afterward, he would be even more closely associated with shame and disaster. But if there was anybody who could get himself and the other shareholders out of this mess, he was that person.

To do so he would have to extend the umbrella of his reputation, already at risk, even further to protect the firm. There was no way to avoid this challenge. Deryck Maughan and John Meriwether could not do it. He could not send somebody from Munger, Tolles, or Charlie Munger, or Tom Murphy, or Bill Ruane. He could not solve it by passing an idea along to Carol Loomis for an incisive article in *Fortune.* Even Big Susie could not solve this. For once, nobody could be his proxy. Only he could save Salomon. And if he walked away, the odds were high that Salomon would implode.

There is an old saying in the military: To advance, a general must expose his flanks. Buffett could be a hero or he could fail. But he could not hide and he could not duck.

At eight o'clock on Saturday morning, August 17, he arrived to a surreal scene at Wachtell, Lipton's offices. Gutfreund was not there; despite miserable weather he had decided to fly up to his Nantucket house, where Susan was staying. All the warlords—theoretically, candidates for CEO—had begun to gather outside an "interview room." Only a few of them made sense or actually wanted the job, but he had to interview every one. Meanwhile, a pair of "plenty smart," tough investigative lawyers from Munger, Tolles—Larry Pedowitz and Allen Martin—gave "a masterful presentation" to Buffett and Munger, who had flown in to participate in person. For the first time—to their outrage—they learned that the Treasury Department had investigated Mozer's earlier trades.[70]

Next, Buffett had to make what he considered the most important hire of his life: to decide who would lead the firm. If he made a mistake, he could not reverse the decision later. Before starting the fifteen-minute interviews, he told the group, "J.M. is not coming back."[71]

With that, he began to interview the candidates one by one. He asked them all the same question: Who should be the next CEO of Salomon?

"I was going into a foxhole with this guy, and he had to be the right choice. The question was, who would have all the qualities that would provide leadership to the firm, cause me not to worry for a second about whether anything was going on that was going to subsequently embarrass the firm or even put us out of business? As I talked to these people, what was really going through my mind was essentially the same questions that would go through your mind if you were deciding who you wanted to be a trustee under your will, or who you wanted to have marry your daughter, or anything of this sort. I wanted the kind of person who was going to be able to make decisions as to what should get to me and what could get solved below the line—who would tell me all the bad news, because good news always takes care of itself in business. I wanted to hear every bit of bad news as soon as it happened, so we could do something about it. I wanted someone who was ethical, who wouldn't stick a gun to my head later on knowing that I couldn't fire him."[72]

Buffett found that all but one of the other candidates thought it should be Deryck Maughan, who had

returned three weeks earlier from running Salomon's Asian operations.[73] Maughan, forty-three years old, now headed the investment-banking group. He was not a trader, and he was English, not American. He had the least resemblance to Mozer or any of Salomon's frat-house trading boys of anyone that could be found. He was viewed as both ethical and possessed of common sense. Thanks to *Liar's Poker,* the public thought of Salomon as a place full of people who stuffed their faces with onion cheeseburgers for breakfast and dangled strippers' panties from their trading screens.[74] Salomon, after all, was the firm where, as Lewis had written, a vice chairman was more like a chairman of vice.[75] Maughan, however, was the very portrait of a dignified, impeccably tailored Englishman. Since he had spent the past several years in Tokyo, the chance that he was tainted by the Treasury auction scandal was remote.

Of all Maughan's qualifications, possibly the most valuable was his distance from the crime. Within Salomon, land of the long knives, all of the other candidates had enemies. Maughan was a question mark, like the token black guy in the movie *Putney Swope,* who gets elected to the job of CEO of a backstabbing advertising agency when the old CEO croaks during a boardroom meeting. The other executives try to sabotage one another's chances of getting his job by voting for Putney Swope, who ends up being elected by a huge majority.[76] Maughan was respected, but no one knew him all that well. As one of the other warlords put it, they all voted for Maughan because it's "better to choose someone you don't know than someone you think is bad."

In the movie, Putney Swope had had the sense to vote for himself. When Buffett asked Maughan who should run Salomon, Maughan replied adroitly: "I'm afraid you're going to find out that it's me," then added that he would serve whomever Buffett chose.[77]

Two other things got Buffett's attention. Maughan did not ask him for protection against being sued. And Buffett—who, as much as he hated admitting it, did not enjoy paying people—was mightily impressed that Maughan did not ask how much the job would pay.

Maughan and two others were told to come to the office for the board meeting the next day. That afternoon, Buffett taxied back uptown to Graham's UN Plaza apartment, where the arb boys met him to plead "with passion and logic" for Meriwether's job. If J.M. left, Buffett knew, there had to be a risk that the arb boys would eventually join him.[78] Without Meriwether, the main source of Salomon's profits would drain away. Buffett's investment in Salomon could become worth far less. Then Meriwether himself arrived, shaken. He did not want to resign, and he talked to Buffett at length. Buffett began to waver. He focused on Meriwether's straightforwardness in reporting the problem.

"After listening to all of this, my reaction was not to ask for his resignation. As best I knew at the time, and this is still my belief, when he had heard of his subordinate's misdeeds, he had gone straight upstairs to his superiors and the general counsel and had reported it. It seemed to me that it was the job of his superiors and the general counsel of the firm to then take action. No one, at this point, was suggesting that the general counsel should resign."

Then Gutfreund called. His flight to Nantucket had been thwarted by Hurricane Bob and he was headed back to New York. "I have no future," he said, agitated.[79] They made plans to go to dinner. Gutfreund insisted that first they talk to his newly hired lawyer, Philip Howard, about severance pay.

Buffett and Munger called Howard, with Munger doing most of the talking. Gutfreund felt the firm owed him $35 million.

"As he was laying all this out, I was listening like the Japanese, saying, 'Yes, I understand your position.' Not 'Yes, I agree with you.' We had no interest whatsoever in trying to arrange a compensation agreement with anyone who was in the middle of a scandal of this proportion without knowing the full facts."

Buffett then said that they could not agree upon an overall number, because no matter what the figure was, "Salomon Gives $XX Severance Package to Gutfreund" would "be the headline," rather than the break with

former management.[80] They laid on praise of Gutfreund's character, however; they told Howard that Gutfreund would be treated fairly, that they had the power to make it happen and had never broken a promise before. Buffett said, "The only way this won't happen is if both Charlie and I die." He later explained that this was a way of avoiding confrontation; that is, "deflecting Mr. Howard and getting him off this kick" because it would be a "little abrupt" to say they didn't want to reach a settlement because "we don't know the full facts" yet.

Buffett and Munger then went out for a steak with Gutfreund at Christ Cella. Gutfreund offered to stay on as a consultant at no charge in the days ahead. "I'm going to need all the help I can get," Buffett said fervently. They talked about the problems of the firm, and Gutfreund said he thought Deryck Maughan was the right guy to run Salomon.

At one point, however, Gutfreund—who still knew a number of facts of which Buffett was not yet aware—said something that contradicted the warm and cozy scene of a few minutes before. "You guys are smarter than I am," he told them. "You guys are going to fuck me."[81]

It was with relief that Buffett and Munger escaped and went back to Kay Graham's apartment. A large suite filled with Asian art, it had many happy associations for Buffett. Graham always kept the kitchen stocked with his favorite foods. He, Carol Loomis, and George Gillespie often got together there for a bridge game, ordering in deli sandwiches on the side. But he was not having nearly as much fun tonight.

Almost as soon as they arrived, Philip Howard showed up, carrying a sheaf of papers about Gutfreund's severance, which he wanted Munger to sign.[82] He talked to both of them for a while, until Buffett left them alone and went off to make some phone calls. Munger started getting irritable. They discussed the matter for perhaps an hour or more.

Munger had already made up his mind that he was going to say no to this deal. As he recalled later, "I was deliberately not listening. I was being polite, but I wasn't paying much attention…. I sort of turned off my mind…. I was just sitting there politely with my head turned off."

When Howard reached the end of his lengthy list of demands, Munger refused to sign the papers, but stressed that Gutfreund would eventually be treated fairly.[83] On the way out the door, Howard hesitated. It bothered him that he still had nothing in writing. "You can't get paid after the divorce," he said. Munger reassured him: "Phil, you have to practice law the way my father did, by trusting in a man's word."[84]

While Howard and Munger were talking, Meriwether and his lawyer, Ted Levine, arrived. Meriwether had changed his mind. He said that he was in an impossible position and had to leave Salomon.

He *"at least partially understood the seriousness of the company's situation. He was pacing back and forth, and he was smoking cigarettes as fast as he could light them. He said that the best thing for him to do was to resign."*

Munger would later express feelings of guilt over agreeing to put Meriwether's name in the press release, which he viewed as a mistake he had made under pressure.[85] Both he and Buffett thought Meriwether could stay and fight it out, but they accepted his resignation.

"We talked for a considerable length of time. They stayed until midnight."

Finally, it was just Buffett and Munger. Buffett went to bed, feeling that matters were, if not under control, at least starting to be straightened out.

The next day, Sunday, August 18, no one would rest.

Early in the morning, Buffett, Gutfreund, and Strauss met in one of the many conference rooms on the forty-fifth floor of Salomon's office downtown before the meeting at which the board would ratify Buffett's

role as interim chairman. The board gathered outside, and one of the members, Gedale Horowitz, took Marty Lipton aside and told him that he and several others had been talking for two days. He said that Meriwether had failed to keep Mozer under control and they would resign unless Meriwether was fired for the good of the firm. He told Buffett a softer version—that he would not attend the board meeting if Meriwether was still employed. Buffett said the situation had resolved itself, because Meriwether was going to step down on his own.[86]

Suddenly, a lawyer appeared in the conference room where Buffett was meeting with Gutfreund and Strauss, waving a message from the Treasury Department. It was going to announce in a few minutes that Salomon was barred from bidding at Treasury auctions, both for customers and for its own account. All of them understood that in minutes, Salomon would be shot in the head. *"We immediately saw that this would put us out of business—not because of the economic loss, but because the message that would go out to the rest of the world in headlines in the papers on Monday would be 'Treasury to Salomon: Drop Dead.' In effect, the response to installation of new management and banishment of the old would be an extraordinary censure delivered at an equally extraordinary time exactly coincident with the first actions of the new management."*

Buffett went off to another conference room to call the Treasury, seeking a stay of execution. The phone was busy. He got the phone company to agree to interrupt the call. They called back and said it was not a working phone. After many minutes of confusion, problems, and delays, Buffett finally spoke to someone in the Treasury Department. It was too late, he was told; the announcement had already gone out. The world now knew that Salomon was banned from doing business with the government.

Many of the board members were seeing their net worth evaporate in front of their eyes. Another slew of lawsuits, on top of those they already anticipated, would arrive on Salomon's doorstep. Buffett appeared calm but determined. He had come to a realization. Gutfreund was being drummed out for having created a nightmare. Now he, Warren Buffett, was actually on the brink—not of overseeing the salvation of a business—but of steering a zombie Salomon through the night of the living dead. Buffett balked.

He said to the board that he was going to tell Treasury Secretary Brady he would not serve as interim chairman; he had come to save the firm, not to oversee its dismemberment. His reputation would be shot either way, he thought, and the fallout from resigning would be less than the grief from staying on. The board understood and agreed. It was the only card that Buffett had to play with Brady. Meanwhile, the board decided to pursue two other courses simultaneously. Buffett turned to Marty Lipton. "Do you know a bankruptcy lawyer?" he asked. Everyone sat frozen for a split second. Then Feuerstein and Lipton went off and began to set in motion the wheels of filing for bankruptcy. If necessary, the firm would fail in an orderly manner, rather than a rout.

Four and a half hours remained to try to reverse the Treasury's decision before a press conference that Salomon had already called for two-thirty p.m. to announce that Buffett would officially become interim chairman. Less than seven hours remained until the Japanese markets would begin to open for the week's business, and London seven hours after that. When Tokyo opened, the landslide would begin.[87] Lenders would start pulling their credits immediately. To plead for clemency had become immeasurably harder. They had not only to change the Treasury's mind but to convince it to reverse itself in public.

John Macfarlane, Salomon's treasurer, came in wearing a warm-up suit, directly from competing in a triathlon. He talked to the board about what the Treasury's action meant to the firm.[88] Banks had already started notifying Salomon they were pulling the firm's commercial paper lines. Solly was careening toward what would almost certainly be the largest failure of a financial firm in history. If the government withdrew its endorsement of Salomon and the firm lost its funding, it would have to liquidate assets at fire-sale prices. That would be followed by severe consequences in the world markets, as some of Salomon's creditors and counterparties, themselves unpaid, also began to fail. It was all going down the tubes. Buffett feared the regulators were going to regret their uncompromising stance.

"If I'd been free to act and wanted to maximize my gain in the ensuing week, not only would I have shorted

any Salomon security that I could have in Tokyo that afternoon and in London late that night, but I would have also shorted equities everywhere.

"We were going to find a judge someplace in Manhattan, walk in on him while he's watching baseball probably and eating popcorn at two in the afternoon, and tell him, we're handing you the keys. You're running the place now. By the way, what do you know about Japanese law, because we owe ten or twelve billion dollars in Japan? We owe ten or twelve billion in Europe. London will open at two in the morning. And as of this very moment, you're running the place."

Corrigan was hard to reach. Asking to speak directly to Treasury Secretary Nick Brady, Buffett found that he was not available either.

Brady was the patrician former CEO of brokerage firm Dillon, Read & Co., and Malcolm Chace Jr.'s nephew, thus a member of the family that had sold Berkshire Fine Spinning to Hathaway Manufacturing. It was he who had written his college thesis on Berkshire, which depressed him so much that he had decided to sell his stock. Through Malcolm Chace, Buffett had once gone to visit Brady at Dillon, Read. The two weren't close friends, but they had a "fine feeling about each other," Buffett says. There was no particular reason, however, why the blue-blooded Brady, who hailed from the old-line firm Dillon, Read, would have a fine feeling about a social parvenu like John Gutfreund—or a fine feeling about an arrogant upstart firm like Salomon.

Nonetheless, Brady called Buffett back. He expressed empathy but made it clear that reversing the decision was an enormous problem.

"They were going to look silly. And I felt they looked silly too, but they would look a whole lot sillier a few days later when financial carnage was spread from this act."[89]

Brady said he thought Buffett was overreacting but agreed to call back again. He needed to consult with SEC Chairman Breeden, with Corrigan, and with Federal Reserve Chairman Alan Greenspan.

Buffett sat and waited for Brady's call. He couldn't call Brady. He didn't know that Brady was sitting on Ogden Phipps's porch in Saratoga Springs, at the horse races. It was Brady's prerogative to call him—or not.

The phone system on the conference floor didn't ring on Sundays. To keep from missing an incoming call, someone had to stare continually at the phone to see whether a little green light lit up. For a while, Buffett stared at the phone, "as depressed as I have ever been." Finally, someone enlisted a hastily-called-in secretary to stare at the light.

Behind the scenes, the regulators were talking. Corrigan had contacted Paul Volcker, former chairman of the Federal Reserve Board and now chairman at a prestigious investment-banking firm. Volcker, like Breeden, was incensed at Salomon. None of the regulators believed that Buffett would walk; they felt he had too much money and reputation at stake. They knew the decision would have an adverse impact on Salomon and they thought that was appropriate. They didn't believe that Salomon would fail even if the Treasury pulled its imprimatur. The markets had so much confidence in Buffett that they assumed that simply by standing over Salomon holding his umbrella, he could save the firm. But they could not be certain of that. They considered whether the financial markets could survive a meltdown of one of its largest firms. The Federal Reserve would have to pump huge sums of money into the market to keep other banks afloat after Salomon failed to pay them. No rescue on this order of magnitude had ever been attempted. They were well aware of the likely second-order effects. The global financial market could potentially collapse. Did they think the Federal Reserve could handle it? "I was always an optimist," Corrigan says. "I always said to myself, 'You do what you have to do.'"[90]

Hours passed while Buffett waited for the phone to ring. Alan Greenspan called once, saying, no matter what, he wanted Buffett to stay. *"It was a plea to just sort of stand there at the bridge regardless of what happened."*

Little by little, the trading floor began to fill with people, as if summoned by some invisible jungle drum. They lit their cigarettes and their cigars, sat around The Room, and waited. The arbs huddled, mourning Meriwether. Nobody knew what was going on upstairs. Slowly, the clock ticked toward the hour when trading would begin in Tokyo, sounding the firm's death knell.

Upstairs, the board milled around uselessly, waiting while the regulators talked. Brady called Buffett back periodically but had nothing meaningful to say. Several times Buffett repeated his case in the gravelly voice that always betrayed him when under stress. He told Brady that Salomon's attorneys were working on a bankruptcy filing. He invoked Salomon's importance to the markets. He told Brady of the domino effect that the firm's failure could cause.

"I said to Nick, I'd talked to Jerry Corrigan. This thing was going to implode. Tokyo was going to open, and we weren't going to buy back our paper. It was over. Hour after hour, from ten o'clock, I kept telling the consequences of all these things, and it didn't mean anything to him."

Brady went back to his fellow regulators and talked. Most of them felt that this was special pleading. Buffett was asking for some kind of gold-star treatment for Salomon, and the firm did not deserve it.[91]

Salomon's board couldn't understand why Buffett's arguments weren't getting through to the regulators. They ran the financial markets. Why wasn't it obvious to them that Salomon was going down?

As the afternoon wore on, Buffett's logic failed, on this most critical occasion, to win over a key ally.

He had only one choice left. Of all avenues open to him, of all resources on which he could draw, this one was the most precious, the huge pool of crystal essence that he was most reluctant to tap. Buffett would undertake almost any item from his short list of most-loathed tasks—get into an angry, critical confrontation; fire someone; cut off a long friendship carefully cultivated; eat Japanese food; give away a vast sum of money; almost *anything*—than make a withdrawal from the Bank of Reputation. For all these many decades, he had brooded over, nurtured, cultivated, and stored that priceless commodity in its vault. Never had he drawn down so much as a drop on behalf of himself or anyone else, except when the odds hugely favored getting back even more in return.

Now the debacle at Salomon had exposed him utterly, putting the entirety at stake. And the only remaining hope was to ask, to literally beg as a personal favor, drawn purely on his own credibility, for help.

He would be putting himself eternally in Brady's debt. He was staking his entire reputation—the reputation that takes a lifetime to build and five minutes to lose—on whatever happened afterward.[92] He had to summon more courage than he knew he had.

Buffett's voice cracked. "Nick," he said, anguished, "this is the most important day of my life."

Brady had his own problems to deal with. He didn't think Buffett's arguments were any good. But he heard the feelings behind the words. He could hear in Buffett's voice that the man thought Salomon had thrown him over Niagara Falls in a barrel.

"Don't worry, Warren," Brady finally said. "We'll get through this." He hung up the phone and went off to consult.

But as the clock crawled toward two-thirty p.m., when the press conference was scheduled to begin, Brady had not called back.

Buffett decided to play the one card he could use with Corrigan. He picked up a phone. "Jerry," he said, "I haven't taken the job yet as interim chairman. We did not hold our meeting this morning because of what the Treasury did. So I am not the chairman of Salomon now. I could become the chairman in thirty seconds, but I am not going to spend the rest of my life shepherding the greatest financial disaster in history. I'm going to get sued either way by fifty people, but I don't want to spend my life trying to mop up a total disaster on Wall

Street. However, I don't mind spending some of my life trying to save this damned place."

Charlie Munger was telling him not to do it under *any* circumstances. "Forget it," he said. "Some sort of surprise could happen the first day and you won't be able to extricate yourself and will spend the next twenty years of your life in court."

Corrigan took Buffett's threat to leave more seriously than the other regulators had, however. "I'll call you back," he said.

Buffett sat and waited, envisioning his next move. He pictured himself getting on an elevator, riding down six floors, walking onto the stage at the press conference all alone, and opening with the words "We've just declared bankruptcy."

Downstairs, in the August heat, more than a hundred reporters and photographers who had been pulled away unexpectedly from their baseball games and swimming pools and family picnics swarmed into Salomon's auditorium for the press conference. The only thing they had to fill their interrupted Sunday afternoon was the sight of Salomon's blood-drenched gladiators, gutted before their eyes on the sand of the Colosseum.

"This crowd was sitting there expecting big news. And I was thinking about the old story about the reporter sent to file a story on a wedding, and he went back and told the editor, 'Well, there wasn't any story, because the groom didn't show up.' That was the mood those reporters were in."

As the minutes passed, a white and shaken Meriwether arrived. He had gone, as instructed, to see Dick Breeden, chairman of the SEC, asking for help. Meriwether reported that Breeden had turned them down flat. Twice in the conversation, Breeden had said Salomon was "rotten to the core."

"Rotten to the core," Meriwether repeated in shock, "rotten to the core." All of them suddenly realized that the Treasury's move had been a joint decision among the Federal Reserve, the Treasury, and the SEC, their condemnation a sudden reversal of the world's opinion of Salomon, a dramatic payback for years of pride and arrogance.

The hour of the press conference came and went, while the reporters fidgeted and grew more irritable downstairs. Brady did not call. The phone sat unblinking.

Finally, Jerome Powell, assistant secretary of the Treasury, called. The Treasury would not fully reverse itself, he said. Salomon could not bid in Treasury auctions for customers. Yet it would compromise on Salomon's most important point: The firm could bid for its own accounts.

"Will that do?" Powell asked.

"I think it will," Buffett said.

He loped back into the boardroom and told them. The room erupted with relief and joy. As rapidly as he could talk, Buffett oversaw the election of himself as interim chairman and Deryck Maughan as director and operating head of Salomon Brothers. At about a quarter to three, he walked outside and had somebody call downstairs to the trading floor.

Maughan was sitting with the traders, watching the clock. At a nearby desk, John Macfarlane's team was working on a contingency plan to dump the firm's assets in Japan as fast as they could work the phones. Somebody called from upstairs and told Maughan to meet Buffett at the elevator bank for a talk. Maughan was uncertain whether he was about to be made the boss—or told he had a new one. He walked over to the elevator. The door opened, and he saw Buffett standing inside. "You've been tagged," Buffett said, and motioned for Maughan to get in. Instead of riding back up to the boardroom, they descended two more floors into the jaws of the waiting press.[93]

"The press was unruly. They were like animals. Every question was a trick question. It was a big story, and

they wouldn't have minded if it had gotten bigger. It was their chance to shine. The TV people were particularly obnoxious. They wanted us to hurry up for the five o'clock news, or the six o' clock news, and I wouldn't cooperate with them. And I could just feel it. I could just tell it. I had to fall on my face. I had to be found a phony. They wanted it to develop that way. There were all kinds of book contracts floating around that room, but only if somehow Salomon failed."

Sitting on the dais, Buffett crossed his arms; he looked weary. Maughan, his light brown hair brushed into a neat pouf, stared wide-eyed at the crowd like the proverbial deer caught in the headlights. Both were clad in navy suits, white shirts, and funereal ties. "I had no preparation, zero," Maughan says. "'You're tagged' was my complete set of instructions." He did not know a single detail that had transpired upstairs. They began.

What happened? the reporters wanted to know.

Buffett, suit jacket bunched up around his ears, explained: "The failure to report is, in my view, inexplicable and inexcusable. I have seen similar dumb things happen in other operations that I am more intimately involved in but not with such consequences."

Had the culture contributed to the scandal? "I don't think the same thing would have happened in a monastery," Buffett said.

Somebody asked him what he would get paid. "I'm going to do this for a dollar," he said. The board, sitting in the audience, was dumbfounded. This was the first they had heard of it.

The reporters declined to be soothed. Were records altered? Who altered them? Was there a cover-up? Who participated in the cover-up?

Yes, some records had been altered. There had been something resembling a cover-up. At that, the pack grew excited, throwing questions hard and fast. Here, perhaps, was the stumbling prey they were hunting, close to capture, ready to be torn apart by their sharp teeth. Alas, the trail grew cold when the cover-up included no one significant beyond those who had already been sacked.

Someone came out to the stage and told Buffett he had a phone call from the Treasury. He hurried from the dais, leaving Maughan, astonished, twisting in the wind alone. Nevertheless, Maughan managed to answer some questions in the perfectly articulated monotones of a BBC announcer narrating a documentary about the mating habits of the wildebeest.

Buffett returned with a press release from the Treasury Department, announcing that Salomon had part of its credibility back. The journalists were not mollified. They pressed on.

Did the ex-executives really resign or had they left through arm-twisting? Buffett assured them repeatedly that Gutfreund, Strauss, and Meriwether had resigned voluntarily. Were the ex-executives getting special compensation? Was Salomon paying their legal fees? How much money did illegal actions earn the firm?

After well over an hour, one of the directors who was sitting next to Munger nudged him and said, "Isn't Warren ever going to end this thing?"

"Maybe he doesn't really want to," Munger said. "Warren knows what he's doing."[94]

How much did the phony trades cost the government? How many customers had told Salomon they wouldn't do business with the firm? What severance would be paid to the ex-executives? Why didn't Wachtell, Lipton take the situation more seriously? What were the details of the strange fraudulent trade the investigators had discovered, the one referred to in the press release as the "billion-dollar practical joke"?

"It is not a joke. I suppose if you had to characterize it in some way—" began Buffett.

"Those were your words in the release," retorted the reporter, sharply.

"Those were not my words. It was in the release. My name is not on the bottom of the release. You can characterize it as a bizarre incident. My definition of a practical joke is one you can laugh at after hearing it. I don't see it as the least bit funny."

The reporters, most of whom had read *Liar's Poker,* waited for an explanation. Salomon, they knew, was famous for its "goofs." Traders were constantly stealing the clothes out of each other's suitcases and replacing them with wet paper towels or lacy pink panties. The most famous goof at Salomon concerned the game of liar's poker itself, which Gutfreund once allegedly offered to play Meriwether for a million dollars on a single bet, no tears. Meriwether supposedly countered with ten million, causing Gutfreund to stand down. While even this story was thought to be a sort of goof, containing apocryphal elements, until now ten million dollars was the outside limit that anyone had ever imagined for a Salomon goof.

But for a billion dollars, you could fill New York Harbor with rubber chickens as high as the Statue of Liberty's thighs. What, then, could have been the "billion-dollar practical joke"?

"Apparently a woman was leaving the department after many, many years—retiring, I guess," Buffett said. "An order was worked out with somebody, to give her a very large order. A billion dollars. A billion-dollar order on a new offering of thirty-year Treasury bonds. Then—and this gets vague—I guess the plan was to maybe convince her somehow that the order was not submitted and have the client question the fact that it was not submitted. It was to try to scare the hell out of her or something. I don't know.

"The bid actually did get submitted."

A hundred fifty reporters sat in silence. Salomon had bought a billion dollars' worth of bonds in a practical joke gone wrong. Buffett was not kidding that the culture of Salomon was going to have to change.

"It should have been crossed out. My guess is that whoever did it did intend to cross it out. It has to be the dumbest joke ever attempted to be perpetrated."

No one said a word.

Maughan: "Any more questions?"

The hot air had been let out of the room. After this bit of truth-telling, what could anyone ask? Only a few more mild questions followed.

The press conference ended. Buffett looked at his watch as they walked off the stage. "I've got to get back to Omaha," he said.

"Warren, what's happening here?" asked Maughan. He had never spoken to any of the angry government officials, had never attended a Salomon board meeting, and the ship was sinking. "Do you have any views on who should form the management? Is there any direction you want to give me as a strategy?"

"If you have to ask me questions like that, I picked the wrong guy," Buffett said. He walked away without another word, leaving his $700 million and his reputation in the hands of a man he had met thirty hours before.[95]

"And then, when it was over, they were swinging cameras in our faces and banging us. It was a mob scene. I went out and got in a cab. And one or two reporters noticed that, which they felt was the new Salomon. Instead of a string of black cars waiting for us out there."

On Monday morning, Maughan went out to The Room to shore up the staff's devastated morale. He took off his jacket and rolled up his sleeves. The firm, he said, had faced three tests. The first was character. By firing Mozer and his number two, Thomas Murphy, and accepting the others' resignations, the firm had passed that test.

The second was confidence. By regaining at least partially the Treasury Department's good graces, Salomon had passed that test.

The third was will. "This is not the same firm," said Maughan, "but we must keep aspects of the old culture while we bring in a new one."[96]

Some of the traders stirred uneasily. What did that mean, a new culture?

But at least Salomon had gotten one lucky break. Overnight, news had flashed over the wire that Soviet Premier Mikhail Gorbachev had been ousted in a coup. The stock market immediately dropped 107 points. Business coverage, which had been drilling on Salomon all day Friday, suddenly shifted focus as the world turned its attention toward Gorbachev, held under house arrest by eight of his own military and state officials. With tanks rolling into Moscow and Russians demonstrating in Parliament and protesting in Leningrad, customers got on the phones, and the bond desk did a brisk business that morning.

"There are lots of ways of getting off the front page," said a salesman, "but sending in the Red Army has got to be the most creative."[97]

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The Angry Gods

New York City • 1991–1994

The regulators' confidence that Salomon could survive on Buffett's reputation alone was almost certainly misplaced. Salomon barely survived even after the Treasury partially reversed itself. Some of its biggest customers simply felt revulsion toward the firm. First the huge and influential California Public Employees' Retirement System, then the World Bank washed their hands of Salomon. Buffett fell asleep each night with visions of the hundreds of billions of dollars of Salomon debt that would fall due over the next few weeks staggering through his dreams like sickly sheep. He had a sense that, for once, matters were simply not under his control. *"Events could do me in, and I couldn't get off the train. I didn't know where the train was going to go.*

"I couldn't do anything about what the troops were going to do every day. I couldn't do anything about discovering things that I didn't know existed when I went in. I couldn't do anything about what Jerry Corrigan felt about everything that had taken place, or what the U.S. Attorney for the Southern District of New York or the Antitrust Division of the Justice Department would do. I knew it was terribly important that it get worked out right, and I knew that was something that—no matter how hard I worked—I had no control over. I could stay up all night and think about things, but that wasn't necessarily going to guarantee a good outcome. And it made a lot of difference to a lot of people. It would change my whole future life."

Buffett had to return to New York the following week. Senator Daniel Patrick Moynihan wanted to see him about Salomon, and there were many other matters that required his presence. He and Munger took Moynihan up to a private dining room on Salomon's forty-seventh floor, where the chef prepared a proper Wall Street meal for Moynihan, including the correct wines. Moynihan looked at Buffett and Munger, who had ordered sandwiches, in disgust. The aftermath of Hurricane Bob was still pounding the East Coast. Suddenly, cascades of rain began pouring in through a leak in the windows. "The gods are angry with Salomon," Buffett remarked.[1]

Later that week, he and Munger went down to Washington to see Bill McLucas and Dick Breeden at the SEC. They came into the office looking like "two guys you would see at the Greyhound bus station," according to McLucas. Then they started talking and laying out their plan to save Salomon; McLucas then understood, he says, why one person he was talking to was considered a legend and the other could finish the legend's sentences.[2]

Afterward, Buffett visited the Treasury Department himself to see Nick Brady, who told him that he had thought Buffett was bluffing. "Warren," he said, "I knew you were going to take the job no matter what we did."[3] It was only the sincerity of Buffett's plea that had touched him. Wind up the job as fast as you can, Brady said, and get out of there.

Buffett was determined that whatever was wrong at Salomon be found, confessed, and fixed right away. "Get it right, get it fast, get it out," he said. When he said fast, he meant fast; he talked to his new secretary, who had worked for Gutfreund and knew everybody well. Paula, he suggested, why don't you start talking to the board members and ask them questions about what they knew and when.[4] Bob Denham, the cautious, thorough Munger, Tolles lawyer who had been airlifted in from Los Angeles to head the investigation, got wind of this plan and put a stop to it. The investigating would be done by lawyers.

The first thing Denham did was interview Don Feuerstein. Afterward, Feuerstein was fired summarily. He asked to talk to Buffett, who told him only "You could have done more." Since Buffett had known that from the beginning, Feuerstein couldn't understand the about-face.[5] Buffett, however, had gradually settled on the conclusion that in his loyalty to Gutfreund, Feuerstein had put his boss's interests ahead of Salomon's. Now Denham got the job of general counsel. As Buffett began to assume control, he discovered how much the board had been subjected to what he called adroit "information rationing" by Salomon's management. He and Munger now learned that when Mozer had first admitted in April to submitting an unauthorized bid, the firm had also discovered that he had tried to cover it up, and had misled the customer whose name he had used by claiming their falsely submitted order for Treasury bonds was a clerical error.

"It was as if Mozer had lit a match. And Mr. Gutfreund could, on April twenty-ninth, have blown out that match that Mozer lit, and instead he did nothing about it.

"And it turned out that Mozer had certain characteristics of a pyromaniac and tended to light matches more often than we thought. Mr. Gutfreund's responsibility was to do something about that when he saw it. He at first did nothing and then later started, perhaps in panic, pouring gasoline on it.

"The end result was that the shareholders of Salomon would be cost hundreds of millions of dollars, and eight thousand employees and their families would fear for their jobs.

"I think it was the simplest thing in the world to do. Here you have a fellow, Paul Mozer, who admits submitting false bids to the most important client and regulator in the world, the U.S. government. And then you know he's tried to cover it up by dragging in a customer and trying to get that customer to cooperate with a cover-up so that the government won't find out.

"None of that was Mr. Gutfreund's fault at all.

"But when you hear about an action like that, it is very obvious in ten seconds that you pick up the phone and say, Mozer, you're fired. Then you go right over to Jerry Corrigan and say, Jerry, you know, this is the problem of running a place with eight thousand employees. This guy went off the reservation, and I fired him as soon as I heard about it. What do you want me to do next?"[6]

Of course, it wouldn't be obvious in ten seconds to many people. They would be thinking about all sorts of other things. Mozer was so valuable to the firm; he had turned around the foreign-exchange department; firing him would be unpleasant; might it be possible to rehabilitate him; it was going to be painful to confess to the regulators; their reaction might be scorching; and no less than a major law firm had said that reporting it wasn't technically required. Buffett skipped all that. He thought in probabilities; he extrapolated right away

to whether a catastrophic outcome was possible—then worked out very fast what it would take to get to the lowest probability of catastrophe. Here, it was firing Mozer and confessing right away. Buffett also thought in black-and-white terms about honesty; he had no tolerance for liars and cheaters. So that was that.

Now he found that the situation unfortunately involved more lying and cheating than he had previously been told. The investigators reported to him that Feuerstein had said at the time that Mozer's actions were "criminal in nature"—a startling contrast to the firm's agreeable response to later legal advice that no disclosure was required. And nobody had ever told the firm's compliance department—which was charged with overseeing regulatory conduct—of Mozer's behavior. True, Salomon had an attitude toward compliance that was best described as loose. There would later even be an argument over who should be considered a member of the compliance committee.[7] Nevertheless, the head of compliance had been disturbed when he found out that he was out of the loop and was angry that such procedures as did exist had been ignored.

Buffett and Munger also learned about the time in early June when Gutfreund had met with Treasury Undersecretary Bob Glauber to defend the firm against accusations that it had engineered the May squeeze. They found out that Salomon's management had considered whether to disclose the February false bid to Glauber immediately after that meeting, and had decided that the time was not right. Glauber later said he felt that he was played for a sucker because Gutfreund had not told him. Nothing had inflamed relations with the government and compromised Salomon's credibility more than this meeting with Glauber. It smacked of an outright cover-up.

The second press release that the board had approved, saying that the delay occurred thanks to "a lack of sufficient attention to the matter," had made the board look like part of the cover-up, given that Gutfreund met with Glauber and clearly had the opportunity to tell him. But of course the board itself had been ignorant of the Glauber meeting.

Buffett was angry that he had known nothing of these matters during the entire weekend of the crisis when he had been negotiating with the government. Everybody whose number one job was to protect the firm's franchise had failed to do so and in fact had acted in a way that actually jeopardized it. Yet even with all of this to outrage him, Buffett still did not know about one last thing: the "cocked gun" Sternlight letter that had been sent and ignored.

A few days later, the board met, and Buffett explained his thinking based on what he had learned. The board canceled the former executives' magazine subscriptions. It took away their secretaries and got rid of chauffeurs and limousines. It cut off their long-distance phone service and messenger services. They were barred from entering Salomon's offices. It tried to cancel their health insurance. Wachtell, Lipton offered to step aside as counsel. Initially, Buffett demurred, but then he agreed. The universal opinion was that Marty Lipton's legal advice had not protected Salomon's reputation.[8]

Denham was now helping to oversee Salomon day to day. To augment the legal team for outside matters, Buffett brought in Ron Olson, the most recent name partner of Munger, Tolles & Olson, who had worked on the *Buffalo Evening News* case and now represented Berkshire Hathaway.[9] MTO had finely tuned radar for how to get the best results for the client from the legal system—and a long-standing knowledge of how Buffett thought.

Buffett told Olson that he wanted to pursue a novel strategy.[10] Already staggering under the near-mortal blow to its reputation, Salomon could not, in his view, survive a criminal indictment.[11] It was like a late-stage cancer patient. To save it, Buffett felt, radical techniques must be applied, even if it left the patient in a weakened state. The therapy he thought was Salomon's best hope of avoiding a criminal indictment was to show extreme contrition. He would surgically dig out every last cell of the cancer and, with scorching radiation, cleanse the firm and burn out any trace of a recurrence.

On Olson's first day on the job, he was sent to see Otto Obermaier, the U.S. Attorney for the Southern District of New York, who would make the decision whether to criminally indict Salomon.

"The argument we made to Otto Obermaier was that we would set an example. This was going to be an example of the most extraordinary cooperation that a target has ever given, and the outcome would have an effect on the behavior of future defendants and how the justice system worked."

Olson had to make an extraordinary pledge. On the spot, he waived Salomon's attorney-client privilege, which shielded communications between the firm and its lawyers from prosecutors. He said that whatever MTO found in its investigation, Obermaier would know it as soon as MTO knew it.[12] In plain English, this meant that MTO, on behalf of Salomon, had volunteered to act as an arm of the government.

Obermaier was "incredulous," Olson says. "He thought we were some Midwest aw-shucks group, come to sell him a bill of goods."[13] He could not believe that any company would make an offer voluntarily that was so against its own best interest. After all, Salomon was in no imminent danger of indictment. It would have months to prove its case. Clearly, this was more than a lip-service promise to "reform."

Then Olson flew to Washington and told Breeden at the SEC—who was "equally skeptical"—the same thing.[14]

Initially, it was not clear what waiving the privilege meant. Frank Barron, an attorney from Cravath, Swaine & Moore, one of Salomon's other law firms, was put in charge of negotiating what this extraordinary gift would mean to the Justice Department. Negotiating terms was difficult, since the commitment had already been made. Salomon had little leverage. The Justice Department pressed hard for a broad interpretation of the commitment and largely got its way.[15] The agreement put the firm in a peculiar and paradoxical situation of prosecuting its own employees. The more evidence that MTO found that employees were guilty, the more proof it could show that Salomon had cooperated and cleansed itself. The employees, meanwhile, must cooperate or be fired, their statements to investigators unprotected by the normal attorney-client privilege.[16]

Asked to help Buffett prepare for upcoming congressional testimony, Gutfreund and his lawyer met with Olson a few days later. Gutfreund had volunteered to cooperate, but when his lawyers tried to lay down ground rules for the conversation, Olson refused to accept them. In the end, Gutfreund and his lawyers walked out.[17] Olson reported back to Buffett that he had been "stonewalled."[18]

Everything at Salomon was turned topsy-turvy as the new culture of openness went into effect. A couple of days after meeting with Obermaier, Olson and Buffett walked into a room at 7 World Trade Center for a meeting. Someone, acting on autopilot, had hired a new public-relations firm. Around a large square table, two dozen people sat waiting for them. Some worked for Salomon, but most were public-relations people and lobbyists who were billing by the hour. Buffett listened for fifteen minutes as they described how they wanted to manage the crisis. Then he stood up. "I'm sorry, but I've got to excuse myself," he said. He leaned over, whispered in Olson's ear, "Tell them they won't be needed," and walked out of the room.[19]

"It isn't that we're misunderstood, for Christ's sake," said Buffett afterward. "We don't have a public-relations problem. We have a problem with what we *did*."

On his birthday, August 30, Buffett went down to Washington. He had decided to prepare for upcoming congressional testimony and had arranged with Steve Bell, who ran Salomon's Washington office, to gather a group to try to anticipate what questions the Congressmen might ask him.

He checked in to the Embassy Suites hotel next to GEICO's offices. As the emergency continued, he holed up in his room for two days. He encountered a telephone operator at the hotel, Carolyn Smith, who became his de facto secretary and Daisy Mae, manning the phones and sending cookies upstairs for him to eat for dinner. They never met in person, but when Nick Brady from the Treasury Department called, she got word to Buffett even when he was tied up on the single line in his room.[20]

After a couple of days, Buffett found time to go over to Salomon's fancy offices, where Bell had gathered people to brainstorm. Bell had called New York in advance, asking what to feed Buffett. "Something

simple," he was told. "Feed him hamburgers." Bell was one of many people over the decades who thought this advice surely could not be literal. When lunchtime arrived, the chef sent out a plainly prepared fish course. Buffett didn't touch it. Then came a pretty salad with a nice imported cheese. Buffett ignored it. Veal or something similar arrived as the third course. Buffett took a bite or two and pushed the food around on his plate. "Mr. Buffett," Bell said, looking worried, "I've noticed you haven't been eating your food. What's wrong? Is there something else we can get for you?"

"I follow a very simple rule when it comes to food," said Buffett. "If a three-year-old doesn't eat it, I don't eat it."[21]

The following day, Buffett, Deryck Maughan, and Bob Denham went to the Rayburn House Office Building to testify before Congress. Katharine Graham showed up to lend moral support, sitting with Maughan and Denham in the first row. Buffett made a striking impression, seated alone at the subcommittee table and pledging extraordinary cooperation with Congress and the regulators.[22] *"I want to find out exactly what happened in the past so that this stain is borne by the guilty few,"* he said, *"and removed from the innocent."*

The Congressmen excoriated Salomon, postured as saviors of investors, and demanded a total break with the past. Nonetheless, they appeared slightly awed by Buffett. When he spoke, "The Red Sea parted, and the Oracle appeared," says Maughan.[23] Buffett laid the problems on Wall Street. *"Huge markets attract people who measure themselves by money,"* he said. *"If someone goes through life and measures themselves solely by how much they have, or how much money they earned last year, sooner or later they're going to end up in trouble."* Salomon, he said, was going to have different priorities from now on.

"Lose money for the firm, and I will be understanding. Lose a shred of reputation for the firm, and I will be ruthless."

Those words have since been parsed and dissected in classrooms and case studies as the model of corporate nobility. Buffett's unflinching display of principle summed up much about the man. In this statement, many of his personal proclivities—rectitude, the urge to preach, his love of crisp, simple rules of behavior—had merged. Openness, integrity, extreme honesty, all the things that he meant to stand for: Buffett meant for Salomon to stand for them too. If Berkshire Hathaway was his editorial page, Salomon would be the church of finance.

Buffett headed back to 7 World Trade Center and put out a one-page letter to employees, insisting they report all legal violations and moral failures to him. He exempted petty moral failures like minor expense-account abuses, but, "when in doubt, call me," he told them. He put his home phone number on the letter. We are going to do "first-class business in a first-class way," he wrote.[24]

He wanted to run things by what he called the "front-page test." Don't just obey the rules, he said.

I want employees to ask themselves whether they are willing to have any contemplated act appear the next day on the front page of their local paper, to be read by their spouses, children, and friends, with the reporting done by an informed and critical reporter.[25]

Employees at the time were frantically trying to keep from losing the firm. They called customers and begged them not to desert Salomon and ditched assets as fast as they could sell them because the debt that financed them was disappearing. John Macfarlane and the repo desk, which sold and bought batches of bonds, managed an intricate runoff of assets while negotiating tensely with numerous lenders, some of whom were refusing to advance money to the firm.[26]

The balance sheet dwindled at the rate of about a billion dollars a day. Macfarlane and the traders met with lenders several times to make sure they were informed, and concentrated on stabilizing Salomon's balance sheet and customer relationships, gradually raising the firm's interest allocation charge and letting economics

do the rest.[27] They paid off all the firm's commercial paper and restructured the debt toward medium-term notes and longer-term capital. Using futures markets and swaps (derivative trades), the firm's traders tiptoed through the market to disguise the giant fire sale they were putting on. If other brokers recognized the pattern of their sales, it could set off a raid.[28]

Under threat of indictment, it was far from certain that Salomon would survive. The employees understood the message of Buffett's letter. Absolutely nothing else could go wrong in this atmosphere, with regulators and Congress in full cry. "I want every employee to be his or her own compliance officer," Buffett said. This meant that to save the firm, they had to spy on each other. Meanwhile, everyone knew that MTO was crawling through the government desk like a minesweeper, looking for anything that could be wrong. As the customers fled, the trades shrank, and the fear spread, the firm's long-standing culture of swashbuckling risk-taking began to fade.

Within days, Buffett was called back, this time to testify before the Senate. Corrigan, Breeden, and the federal prosecutors remained disgusted with Salomon. As he waited to be called, seated a couple of rows behind Corrigan in the Senate chamber, Buffett heard Senator Chris Dodd question Corrigan about whether the Federal Reserve had been asleep at the switch.[29] Corrigan said no, and that the Sternlight letter delivered on August 13 had been designed to produce a change in management but had been ignored—which, Buffett saw, he interpreted as Salomon spitting in his face.

Buffett sat figuratively scratching his head. He knew there was some kind of major problem here, but he didn't know what Corrigan was talking about.[30]

When it came time for him to testify, he said, *"The nation has a right to expect its rules and laws to be obeyed, and Salomon did not live up to this obligation."* Congressmen complained about Salomon's excessive pay. How could one bond-arbitrage trader make $23 million? they asked. *"That disturbed me plenty,"* Buffett replied. They wanted to know what bond arbitrage was, and whether it benefited the economy. Buffett explained, then said, *"If you asked me whether that compares to a good teacher in a public school, I would not want you to press me on it."*

Why hadn't a board filled with smart people been more aware and alert? a Congressman demanded. Without betraying the fact that he was steaming inside about the Sternlight letter—whatever that might be—Buffett said that management had withheld information.[31] He acknowledged that Munger had been the only one smart enough to ask the right questions when the first phone call came.

He was not about to defend Salomon as what it was: a great company with a wonderful culture that had a single employee who did a terrible thing, overseen by a management who mishandled the situation disastrously. Defending the firm of *Liar's Poker* was not likely to win friends. No, Salomon was a financial Gomorrah that must be investigated and purged of its ticket-forging, bonus-pimping, pizza-tossing ways.

This bold, arresting stance stopped a brewing witch hunt in its tracks. The pitchforks went back into the barns. The employees went along accordingly. "It was a brilliant strategy," said Eric Rosenfeld. "That was our marching order, and we marched."

When Buffett got back to Salomon, he went after the details of the Sternlight letter; "he was livid," according to board member Gedale Horowitz. "It compounded the felony. He was so angry because he hadn't been told and the letter hadn't been responded to." Other than the Glauber meeting, the Sternlight letter was the most serious act of "information rationing." Withholding it from the board had put them in the position of making a number of decisions in a state of ignorance about Corrigan's expectations. Buffett's and Munger's attitudes toward prior management hardened. Now the real import of Munger's term "thumb-sucking" became absolutely clear. "Thumb-sucking" meant ignoring the obvious until your diaper was full. Over a couple of weeks, said Munger, "We paid attention to our sovereign"—meaning the Treasury and the Federal Reserve—"and our views changed as our cognition improved." As far as Gutfreund was concerned, "we had no option of forgiveness,"[32] Buffett said.

Through these revelations, Buffett led Salomon with apparent equanimity and poise, while Maughan and a few employees dressed in hazmat suits made up the cleanup crew. But beneath his eggshell-smooth demeanor, he was roiling in turmoil. To keep himself from thinking about Salomon, he played an electronic game called Monty for hours at a time. He hated being away from Omaha. Gladys Kaiser noticed the lift in his step when he returned and the drag in his feet when he had to leave. She wanted to retire but stayed on temporarily because her boss was having such a terrible year.[33] New York did not suit him any more than it had when he was young and working at Graham-Newman. He remained aloof, never appeared on the trading floor, and, as one senior manager noted, even a glimpse of him in the hallways at Salomon was "a rare sighting." Susie came out to visit from San Francisco. Kay Graham arrived to play bridge and keep him company. Before long, he had set up a regular game with Carol Loomis, George Gillespie, and Ace Greenberg, the CEO of Bear Stearns. Bridge helped him relax because, when he played bridge, he couldn't think about anything else. A couple of miles uptown, in his enormous Park Avenue apartment filled with a painstakingly assembled collection of art, his old friend Dan Cowin lay dying of cancer.

Buffett wasn't sleeping. When in New York, he would call home at twelve-thirty a.m., since he had the special deal to get the *Wall Street Journal* early in Omaha, and have tomorrow's news read to him over the phone.[34] He listened on tenterhooks, fearing that something horrible would be published about Salomon. Often there was, but at least he knew it before the rest of the employees, some of whom were seeing even less of their own homes than he was of Omaha. They were working fourteen or more hours a day to hold the firm together in the face of repeated obstacles and humiliations. Salomon's stock and bond salesmen called clients knowing their main task was to convince them that the firm was not going under. Investment-banking clients were canceling previously committed deals as fast as they could run out the door. British Telecom threw Salomon out of the landmark deal that Gutfreund had gone to London to save, a trip that had caused him to miss the phone call with Buffett in Reno that revealed the emerging scandal. Bankers trying to sell other business faced an almost impossible task, as competitors used the firm's precarious status against it when Salomon vied against them in banking "bake-offs."[35]

Other employees got field promotions of daunting magnitude. Maughan elevated one of the arbs, Eric Rosenfeld, to head trader, alongside Bill McIntosh, the head of sales. Rosenfeld, a former college professor who had never worked with a team of more than five people, suddenly found himself managing six hundred. Then the investigators threatened to fire some of his traders. And along with managing the six hundred, Rosenfeld personally reviewed thousands of trades for the lawyers to reconstruct what had happened.[36]

He did not want this promotion; he and the other arbs wanted J.M. back. Meriwether's office remained exactly as he had left it. The golf clubs, his ceremonial instruments of power, leaned in the corner. The cleaning crew kept the shrine well-dusted. The arbs gathered to consult the oracles of trading. They prayed for J.M.'s return. Salomon's stock continued to slump toward the low $20s.

As the investigation ticked along and the employees rowed like galley slaves, Buffett's mind could not help but wander toward his main preoccupations: Berkshire Hathaway and investing. He had just bought a shoe company, H.H. Brown Shoes, and turned to his secretary at Salomon, Paula Orlowski, sending her to the library to delve into computer files in search of SEC documents on Morse Shoe, another footwear maker that had recently filed for bankruptcy.[37]

Nevertheless, Salomon demanded most of his attention. Piled on top of other, earlier scandals—Ivan Boesky, Michael Milken at Drexel Burnham Lambert—the Salomon affair had fueled the perception that Wall Street was utterly corrupt. In the wake of Buffett's performance before Congress, a raft of other brokerage firms rushed to the confessional and followed suit.[38] By now, Salomon's investigators had discovered that Mozer had bid more than thirty-five percent on eight separate occasions, submitting false customer bids or jacking up customer bids and taking the extra bonds into Salomon's own account without informing the clients whose names had been used. On four occasions he had managed to acquire more than three-quarters of all the debt issued.[39] As the witch-hunt atmosphere heightened, Buffett upped the ante. At the next board meeting, he led a discussion. Why should Salomon be paying the attorneys of John Gutfreund to stonewall us? was the thrust of his questioning.[40] The directors voted, almost unanimously, to make two surprising moves. No

severance pay, they said. And the firm cut off payment of legal fees for the former executives.[41]

The drama now revolved around two things: the Federal Reserve's deliberations over whether to keep Salomon as a primary dealer, and the criminal case. The Federal Reserve lacked the expedient option of temporarily suspending the firm: "It's like executing somebody technically and then resuscitating them," said Federal Reserve Chairman Alan Greenspan. In October, the Fed was seriously considering letting Salomon fail. Keeping it around was a decision that might be "jumped on by politicians right and left."[42]

The U.S. Attorney's prosecutors thought they had enough evidence to indict. The criminal law makes it very difficult to defend corporations against the acts of their employees. Gary Naftalis, Salomon's criminal lawyer, advised the firm that "Salomon plainly could be convicted" if it was indicted. For obvious reasons, everyone at the firm was desperate to get the criminal matter resolved. As long as it was hanging over the firm's head, Salomon operated under a death threat, and customers knew as much. But Naftalis was in no hurry. He reasoned that a quick decision would probably mean indictment, whereas more time would let him lobby and persuade that Salomon did not deserve indictment; more time would let Salomon demonstrate its extraordinary willingness to cooperate; more time made it less likely that the prosecutors would indict.[43]

After some three months of work dedicated to reforming the firm, Denham led Buffett, Olson, Naftalis, and Frank Barron to a secret location, chosen at U.S. Attorney Otto Obermaier's insistence, half a mile from the prosecutor's office at St. Andrew's Plaza near City Hall. It was a last-ditch attempt to persuade Obermaier and his lawyers not to indict.[44]

A Teutonic old-school prosecutor with a love of the law and a deep respect for the history and traditions of the U.S. Attorney's office, Obermaier had been trying to figure out what to do with the fiasco that had landed in his lap. He recognized its unique nature. "This is no assault case on the New York subways," he said. Indeed, he had been calling Jerry Corrigan "alarmingly often" to learn the ins and outs of the Treasury bond market: the difference between two-year notes and thirty-year bonds, the frequency of auctions, and how they were conducted.[45]

Sitting in a little conference room facing Obermaier, Buffett did most of the talking. He worked very hard to convey what he had said so many times, that if the firm were indicted, it could not survive. Obermaier made comparisons, however, to a case involving Chrysler, which had survived prosecution.[46] The difference between a firm that sold hard assets and a firm that bought and sold nothing more than promises on pieces of paper was initially not clear. Buffett tried to get past the image of onion-burger-tossing slobs inspired by *Liar's Poker* and invoked the innocent rank-and-file who would lose their jobs if Salomon went down. He promised that he would not sell his Salomon stock anytime soon and that his people would continue to run the place. He conveyed the sweeping nature of the cultural changes taking place inside the firm. This made an impression on Obermaier, but he kept a poker face. He had many other factors to consider.[47] The Salomon team went back across town with no idea whether they had succeeded or failed.

By midwinter, Salomon's status as a primary dealer remained unresolved. The firm still lacked the right to trade for clients, and the Treasury Department could undo the whole deal at any moment. Under threat of corporate criminal indictment, Buffett and Maughan labored to prove the firm worthy of saving. Buffett had run a full-page ad in the *Wall Street Journal* explaining the firm's new standards.[48]

"I said that we would have people to match our principles, rather than the reverse. But I found out that wasn't so easy."

Day after day, Buffett bore down, shocked by the lavish lifestyle that was taken for granted on Wall Street. The executive dining room's kitchen, as large as that of any restaurant in New York, was run by a head chef trained at the Culinary Institute of America and staffed by a pastry chef, a sous-chef, and a number of under-chefs. Employees could order "anything on earth they wanted" for lunch.[49] In his first days in New York, Buffett received a letter from the head of another bank, inviting him to lunch so their chefs could do battle. Buffett's idea of testing his chef's skills was ordering a hamburger for lunch every single day.

The frustrated chef created batch after batch of handmade potato chips. He peeled the potatoes into cylinders sized to the millimeter, sliced them gossamer-thin, and whisked them into fresh sizzling oil until crisped just so. The perfect potato chips lay heaped in a pyramid alongside the daily hamburger on Buffett's plate. He ate them absentmindedly, daydreaming of McDonald's french fries.

For Buffett, the dining room symbolized the culture of Wall Street, which he found abhorrent. He had been born in an age where money was scarce and life was lived at a walking pace, and he'd arranged his own life to keep things that way. On Wall Street, money was plentiful and life was lived at whatever speed bandwidth could currently supply. People left their homes at five a.m. daily and returned at nine or ten at night. Their employers showered them with money for doing that but in return wanted every waking second of their time and supplied certain services to keep them working at a treadmill pace. Buffett as a child had been impressed by the Stock Exchange employee who rolled custom-made cigars, but now found this astonishing.

"They had a barbershop downstairs, and they didn't even tell me about it. They were afraid of what would happen when I found out. And they had a guy who came around and shined your shoes, and you didn't pay him."

The executives of Salomon had previously felt, as one underling put it, that "God forbid they should ever lift anything but a fork." Behavior by their new billionaire chairman that would seem normal on Main Street shocked Salomon's employees. On the way to play bridge one night, Buffett asked his Salomon driver to stop the car. He climbed out and walked into a nearby store, then returned a few minutes later as the driver watched, mouth agape. The chairman was carrying huge bags full of ham sandwiches and Coca-Cola.[50] This was the new Salomon.

But it was the battle over pay that became the watershed. Early in the fall, Buffett had told the staff that he would be slashing $110 million from the year-end bonus pool. "Employees producing mediocre returns for their owners should expect their pay to reflect this shortfall," he wrote.[51] That seemed simple and obvious to him. Businesses and people that were producing should be paid. Those that weren't should not. Maughan agreed with Buffett that the culture of entitlement had to go. People were not entitled to millions just because they owned three houses and were supporting two ex-wives.[52] But for once Buffett had miscalculated the limits of human nature. The formerly enriched employees, used to being showered with money on bonus day, now knew that they were about to be gouged.

Buffett's reasoning that employees should not take home all the spoils and the shareholders none was lost on them. Indeed, they believed the opposite, since they had been taking home the spoils for years. A decrease from last year was outrageous. They felt that Buffett was trying to transfer some of the guilt from Mozer's misdeeds to them by making an issue out of the bonuses. They had not caused Salomon's woes. Rather, they had stayed out of loyalty and were enduring humiliation and misery in its aftermath. They were sweeping up behind the elephant. They felt that they deserved combat pay. It wasn't their fault that their businesses weren't performing. How could they sell an investment-banking deal while the firm was under threat of indictment? Didn't Buffett understand that? They were up against the fact that everybody on Wall Street knew that Buffett thought investment bankers were nothing but useless stuffed shirts with fancy cuff links. Meanwhile, despite its problems, Salomon was actually having a decent year financially. They resented being called greedy once again by an avaricious billionaire.

The deprived traders, sales force, and bankers had to hang around until year-end, the traditional time for quitting, after individual bonuses were paid and the smaller but nevertheless multimillion-dollar deferred bonus pool was scheduled to cash out.

When the bonus pool was divvied up around the holidays, the battle over pay reached epic scale. The top thirteen executives saw their bonuses slashed by half. As soon as the numbers were announced, Salomon's hallways and trading floor erupted in open revolt. With budgets and bonuses gutted, traders and bankers fled. Half the equity department—home of the investment bankers—ran out the door. The rest of the trading floor went on a temporary strike.

One day, Buffett walked a couple of blocks over to American Express to have lunch with its CEO, Jim Robinson. "Jim," he said, "I didn't think it was possible, but I just paid out nine hundred million dollars in bonuses." Yet he felt that everybody, other than Maughan and one or two people he had brought in to fix the place, was mad at him.[53]

"They took the money and ran. Everybody just peeled off.

"It was just so apparent that the whole thing was being run for the employees.[54] *The investment bankers didn't make any money, but they felt they were the aristocracy. And they hated the traders, partly because the traders made the money and therefore had more muscle."*

He had just saved Salomon and had thought that that would matter to the employees. But no, "We were grateful for about five minutes," was the verdict of one ex-employee. The fact that they wouldn't have a job without Buffett was forgotten in the grim shadow of the Bad Bonus Day. "Warren didn't understand how to run a people business" became the refrain among ex-employees. Salomon wasn't the kind of place where you could just raise prices, cut overhead, and pull cash out of the business up to the parent company (although Buffett did as much of that as he could). You had to keep very smart people motivated when they had other options instead, during a time when "you were dying by a thousand cuts a day," as Olson put it. Buffett viewed the new pay deal as a cultural litmus test: Those who left were mercenaries whom the firm could do without, and those who stayed had signed on to the kind of firm he wanted.

Wall Street being a mercenary kind of place, little by little many of the top employees continued to drift away, carrying books of business to competitors as they departed. Buffett couldn't sleep. *"I couldn't turn off my mind,"* he says. He had spent his whole life avoiding commitments to anything where there was no escape hatch and he didn't have total control. *"I've always been leery of getting sucked into things. At Salomon I found myself defending things I didn't want to defend; and then I found myself being critical of my own organization."*

Months had passed and Obermaier was still pondering whether Salomon's conduct was bad enough to indict. He knew "it would have been the death knell of the company."[55] In considering the phony bids, he thought it important that Mozer's actions were motivated more by rebellion against the Treasury rules than simply to enrich Salomon. Likewise, no serious financial losses had occurred from the phony bids.[56] He also weighed Buffett's promises and the new culture.

Together with Breeden at the SEC, he began to work on settlement talks with Salomon that would allow the firm to escape indictment. Frank Barron, the lawyer from Cravath, went down to the SEC to negotiate its share of the settlement in a meeting with Bill McLucas, Breeden's deputy, who informed Barron the fine from the Department of Justice and the Treasury Department would be $190 million plus a $100 million restitution fund. Barron was shocked—the fine was huge for the transgressions of a single trader who had violated Treasury rules without causing serious harm to customers or the market. Why? he asked. "Well, Frank," said McLucas, "you have to understand that it's going to be $190 million because that's what Richard Breeden says it's going to be."[57]

The moment when John Meriwether had rushed into the conference room that Sunday morning, white and shaken, quoting Dick Breeden, who had called Salomon "rotten to the core, rotten to the core," came to mind. There would be no appealing this decision. Salomon agreed to pay the extraordinary fine.

Buffett was trying to undo the "rotten to the core" image as fast as he could. Dubbed "Jimmy Stewart" by the staff, he nixed deal after deal that he thought was too close to the line, despite the resulting internal backlash. Then another crisis erupted that almost derailed the settlement.

Mozer made a proffer to the government to plea-bargain his case. He revealed some tax-motivated trades done by him with other traders that involved making secret side deals with other firms to guarantee the other firms against losses. The tax trades would give the prosecutors an even stronger reason to press criminal

charges against the firm.

Besides the obvious motivation of trying to save his own neck, Mozer had ample reason to harbor bitter feelings toward Salomon. Had the firm's former leaders handled the situation properly, he still would have been fired, and he might have still been charged with fraud and be going to prison—but his name would not be splashed all over the newspapers as the man who had nearly caused the largest financial failure in history.

During an emergency board meeting, Obermaier called Olson about the tax trades to settle things down. He said that he had decided not to scuttle the settlement over Mozer's new revelations. Whatever this new issue was, Salomon would take that up with the IRS. The rest of the firm's misconduct, he thought, was serious, and should "bring the corporate entity to its knees, at least for a slight genuflection,"[58] but not require the death penalty.

On May 20, Obermaier's office called Olson to say that the government was not going to indict and had dropped all charges. The U.S. Attorney and the SEC announced a settlement with Salomon over fraud and record-keeping charges; including the $100 million restitution fund, it was in total the second largest fine in history. The settlement found no evidence of wrongdoing other than Mozer's illegal bidding, which had been discovered by Salomon itself. Mozer was going to prison for four months, and would pay a $1.1 million fine. He was barred from the industry for life.[59] Gutfreund, Meriwether, and Strauss were reprimanded for failing to supervise him, given small fines, and suspended for a few months from working in the industry.[60]

Some thought Salomon got off easy compared to Drexel Burnham Lambert, which had paid $650 million and imploded after settling felony charges of stock parking and stock manipulation. But most observers were dumbstruck at the size of the fine for what amounted to technical violations by one employee. In fact, by acknowledging its guilt to the government so freely, some thought Salomon had given up its negotiating leverage. But what the large fine really reflected was that the firm had bungled its reporting responsibilities so badly, and had made the regulators look asleep at the switch in front of Congress. In other words, thumb-sucking and obfuscation had nearly bankrupted Salomon. Thus it was, as the well-exercised saying goes, the cover-up, not the crime.

Three days after the announcement, Dan Cowin died of cancer. Buffett wrote out a heartfelt eulogy, meaning to deliver it himself, and asked his secretary, Paula Orlowski, to stop by his hotel room and pick it up to have it typed. But when she arrived, he met her at the door and said, with an agonized look, that he could not bring himself to speak at Cowin's service. Instead, Susie was going to read it for him.[61] Buffett went to the service. *"I sat through it shaking all over the whole time,"* he says.

Then he went back to work. Salomon estimated that the $4 million profit Mozer had made from his trades had cost the firm $800 million in lost business, fines, penalties, and legal fees. The firm's status as a primary dealer remained unresolved, although it now seemed a foregone conclusion that this would be resolved in Salomon's favor.[62] Employee defections had slowed to a trickle, and the rating agencies were starting to upgrade Salomon's debt. Customers started coming back. As Salomon stock crept above $33, Buffett, who could not wait to return permanently to Omaha, announced that he was stepping down. Deryck Maughan took over as permanent CEO, and Buffett appointed MTO lawyer Bob Denham as chairman. When it was over, says Gladys Kaiser, "I could almost *see* a big sigh of relief. It was as if, almost overnight, we got Warren back."

In that mournful spring of 1992, as Salomon staggered to its feet, the question of how to deal with those who had nearly brought it down remained unresolved. Second only to Mozer in the public's assessment of culpability was John Gutfreund. In the end it was he who was responsible, despite all the legal advice that reporting was not required.

When the time came for Gutfreund to discuss what money he would receive from the firm, he asked for the "fair treatment" he had been promised as long as Buffett and Munger were alive. Now, however, it turned out that the parties' opinions of what was fair differed dramatically.

Gutfreund's lawyer thought that he had made a deal with Charlie Munger on that fateful weekend in August of the previous year, and that Munger had accepted a resignation letter conditioned on the lengthy list of severance terms. Gutfreund felt that he had fallen on his sword to save the firm and thought he was owed $35 million in back pay, stock, and severance. Salomon, however, took the position that Charlie Munger had made no deal at all. The board agreed to interpret Gutfreund's employee-benefit plans strictly and also took back the stock options he had earned, even though the stock-option plan contained no provisions allowing for forfeiture under this or any circumstances. It countered with $8.6 million.

Insulted and outraged, Gutfreund turned it down. "It seemed wrong," he said. "As a matter of principle, I fought."[63] His lawyers interpreted the offer not as meant to inspire negotiation but as so insultingly low that it must be dismissed. In 1993, Gutfreund took Salomon to arbitration.

Arbitration is a process in which a panel of neutral parties listens to both sides and reaches a binding decision to resolve a dispute. Arbitration is also a throw of the dice, for its very nature cuts off negotiation forever once a decision is reached.

John Gutfreund had been reduced to sitting in a small three-room office, where he answered his own phone when his part-time secretary was away. He brooded over the fact that Susan, now dubbed "Marie Antoinette" by the press, had told him not to resign—as if he had had an option—saying it would make him unemployable. They had been cast out of the New York social set. The press had turned on him savagely, in a way he had never imagined could happen, comparing him to felons like Boesky and Milken.[64] Many of his former friends had abandoned him. Unassisted by Salomon, he was running up huge bills to defend himself in civil lawsuits.

Gutfreund wanted vindication through the arbitration. But a public raking and digging over the whole Salomon mess, which might have salved his wounded pride, was guaranteed to alienate Buffett and make him less likely to compromise. After Buffett had staked much of his image on Salomon, Gutfreund had let him down, and to retell this story in an arbitration, covered at full yelp by a dogged press, could not possibly inspire Buffett to reinterpret Gutfreund's behavior more generously. Now that he and Gutfreund were no longer partners, in Buffett's special sense of the word, transgressions he might once have eventually forgiven became larger with hindsight. They were many, and even without benefit of hindsight they were large:

• The stock-option repricing in 1987, which had cost Buffett so much money.

• The Sternlight "cocked gun" letter from the Fed, which Buffett had not learned about until it was too late.

• The meeting with Bob Glauber at the Treasury, when Gutfreund had kept silent, which had also been kept from Buffett and the other board members.

• An equity plan that allowed an employee to keep his stock if fired for cause, which Gutfreund had put before the board and shareholders late in that fateful spring of 1991.

Buffett felt the whole thing was a tragedy that should never have happened and that Gutfreund's behavior had been some sort of weird aberration. Although he normally avoided conflict, if forced into battle, his proxies fought for him like cornered hyenas. Charlie Munger, who was inclined to say things such as that Gutfreund made Napoleon look like a shrinking violet, was the appointed bad guy in the arbitration.[65] His testimony would be crucial, because he was the one who had negotiated with Gutfreund's lawyer, Philip Howard.

It was the young president of the New York Stock Exchange, Dick Grasso, who chose the three graying arbitrators who would decide Gutfreund's fate in a dingy conference room at the Exchange.[66] A team of lawyers from Cravath—backed by testimony from Salomon board members, employees, ex-employees, Buffett, and Munger—began to pulverize Gutfreund in a process that took more than sixty sessions and several months before the arbitrators.

Over and over, the arbitrators heard about the meeting between Munger and Philip Howard in which Howard reviewed the list of compensations Gutfreund wanted and Munger listened in some fashion or another. All agreed that Howard left without a signature on Gutfreund's severance papers, but there was no agreement about how to interpret the rest of the events of that evening. Howard was certain that Munger had made a deal with him.

Gutfreund's lawyers called Charlie Munger as a witness. Frank Barron of Cravath, Swaine & Moore had attempted to prepare Munger, who was utterly impatient with the process. Although Barron had prepared Munger by himself, Munger, a lawyer who disliked paying legal bills, extemporized to the arbitrators that, in preparing him for testimony, Cravath had employed an excessive number of expensive paralegals and "aspirin-carriers."[67] When he began to testify, every word that came out of his mouth "had nothing to do with what we had gone over," says Barron. "Putting Charlie Munger on the witness stand was the most nerve-racking, hair-raising experience I ever had as a lawyer."[68]

Munger's confidence as a witness was unmatched. A number of times the lead abitrator, growing irritated, admonished him: "Mr. Munger, would you please listen to the questions before you answer them."

Munger insisted that on the night when he had met with Philip Howard, he was "deliberately not listening…being polite, but I wasn't paying much attention…I sort of turned off my mind…. I was just sitting there politely with my head turned off."

Gutfreund's lawyers asked him whether he had made a conscious decision not to talk as well as not to listen.

"No," said Munger, "when the time came to talk, I talked. One of my faults—I am fairly outspoken. I may well have discussed some individual things that got through my band of indifference. This is one of my most irritating conversational habits. It followed me through the course of my life.

"So every time something would get through and I would see a counterargument," he said, he would give it. Howard had asked for an indemnification for Gutfreund against lawsuits. Being a legal matter, this had gotten through Munger's band of indifference.

"I think I said to him, You don't even know what you are going to need. God knows there will be litigation, there will be a big mess, who knows how things are going to work out. You are misrepresenting your own client if you think it makes sense to get into any of those issues at this time."

Was that also a conversation in which you were tuning out? asked Gutfreund's lawyer.

"No, I tend to tune in when I am speaking myself," said Munger, under oath. "I tend to remember what I say."

Was this also a conversation in which you were deliberately not listening at various times?

"What did you say?" said Munger. "I just tuned out again, and I wasn't doing it on purpose."

Was this also a conversation in which at various times you were deliberately not listening?

"I am ashamed to say I have done it again. Will you please do it one more time? This time I will use an effort."

Gutfreund's lawyer repeated the question for the third time.

"You bet," said Munger. "I was going through the motions."

In what mental state the arbitrators, the lawyers, and Gutfreund heard these words can only be imagined. Regrettably, much of the misunderstanding seems to have lain in Philip Howard's unfamiliarity with the outward signs of the workings of Charlie Munger's mind. He had labored that night under the illusion that he

and Munger were having a conversation. He did not recognize Munger's occasional replies as intermittent thought-bursts ignited by some random mite that had pierced Munger's band of indifference. Whenever Munger objected, Howard assumed they were negotiating, not that he was simply being lectured. When Munger said nothing or emitted a grunt to move the conversation along, Howard inferred that Munger agreed, or at least that he had no objection to whatever had just been said. Nobody had explained to him that Munger's head was turned off.

Gutfreund's lawyer reminded Munger of Buffett's testimony, in which he had acknowledged saying to Gutfreund that he had the power to make all this happen. Did Mr. Munger recall Mr. Buffett saying that?

"I don't remember Mr. Buffett's words as well as I remember my own," said Munger. "But certainly the gist of the thing was that you can count on us to be fair."[69]

The issue was what was meant by fair. Salomon never disputed that the money was Gutfreund's and that he had already earned it. The argument boiled down to whether Gutfreund would have been terminated had all the facts been known. Thus, the case became an exercise in proving that Gutfreund should have been terminated. Even Donald Feuerstein agreed that in concealing what he knew from Glauber, Gutfreund had been dishonest with the government. Although everyone thought this bizarre and out-of-character behavior, nonetheless, it had happened.

In fairness to Salomon, Gutfreund understood why the firm was expending so much effort to prove he should have been fired. He knew it was in everybody's interest to vilify him, but the lack of proportion bothered him. At some point it should have ended, he thought.

Nonetheless, everyone, Buffett included, felt that Gutfreund was entitled to some of the money. Buffett had Sam Butler, a fellow GEICO board member and friend of Gutfreund's, call him twice and offer $14 million. Butler whispered, "I can probably get you a little more." Buffett would have gone to $18 million.[70] But Gutfreund had been humiliated by the process. He considered Charlie Munger mean-spirited and self-righteous. He turned the offer down indignantly. The arbitrators would decide.

After months of testimony, lasting until spring 1994, the arbitrators were showing their impatience at the endless, circular, and conflicting arguments, one side professing complete innocence and the other portraying Gutfreund as an archfiend. Then, at the closing statements, Gutfreund's lawyers showed up with a chart, raising the demand to $56.3 million by adding interest, penalties, stock appreciation, and other items.

The lawyers and people involved at Salomon had set up a betting pool as the arbitration crawled at an agonizingly slow pace toward its conclusion. How much money would the arbitrators give Gutfreund? The lowest bet was $12 million. The highest was $22 million.[71]

No one will ever know what factors the arbitrators weighed in their decision. When the decision was announced, they awarded Gutfreund nothing, not a dime.

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The Lottery

Halfway Around the World • 1991–1995

Buffett's testimony in Congress as the reformer and savior of Salomon had turned him from a rich investor into a hero. Salomon was more than a simple white hats/black hats story. The success of his unorthodox

approach to scandal—embracing regulators and law enforcers instead of hunkering down—touched the yearning for nobility in many people's hearts: the dream that honesty is rewarded; that the besmirched can be redeemed through honor. Even as the furor from the crisis died, Buffett's star rose. Berkshire stock took off on a meteoric streak, bursting past $10,000 a share. Buffett was now worth $4.4 billion. Susie's stock alone was worth $500 million. His original partners would now have $3.5 million for every $1,000 they had laid out in 1957.

When Buffett walked into a room, the electricity was palpable. In his presence people felt brushed by greatness. They wanted to *touch* him. They became dumbstruck before him, or babbled inane remarks. No matter what he said, people listened uncritically.

"I was at my best at giving financial advice when I was twenty-one years old and people weren't listening to me. I could have gotten up there and said the most brilliant things and not very much attention would have been paid to me. And now I can say the dumbest things in the world and a fair number of people will think there's some great hidden meaning to it or something."

He went about surrounded by a little haze of fame. Reporters called all the time now. He was followed and asked for his autograph, and photographers started to shadow him. Zsa Zsa Gabor wrote and asked for a signed photo. As writers began working on books about Buffett, people who saw him every day—his protectors—found the frenzy incomprehensible. A woman showed up at Berkshire's office and began bowing and scraping to him. Gladys Kaiser was overcome with annoyance. "Don't bow to him!" she said.

Many Salomon employees and ex-employees, of course, were less impressed with Buffett than was the rest of the world. He had reined in their freewheeling culture, ruined their bonus day; he disdained their business and they knew it. Plenty of employees had unhappy stories to tell. Soon enough, the contrast between Buffett's aw-shucks image and his coldly rational side hit the radar screen of the national press. How to explain the dichotomy between Buffett figuratively sitting on a front porch with a glass of lemonade, telling folksy stories and teaching through homilies, and his long history of sophisticated business feats? What was he doing as interim chairman of an investment bank while talking and writing about Wall Street as a gang of con men, sharpies, and cheats?

What he was doing was trying to align the way people were paid at Salomon with the interests of shareholders, but his concern about compensation was just one aspect of his fundamental objection to a business in which almost every department had some sort of inherent conflict of interest with its customers. And without decimating Salomon by jettisoning everything but proprietary trading, he could not do much about that. But even by 1991, the *Wall Street Journal* and the *New Republic*[1] took note of his straddling of two worlds, and both ran stories pointing out the disparities between them. The mismatch between Buffett's representation of himself as a middle-class Midwesterner who had woken up in Oz and the elephant-bumping in which he routinely engaged with his collection of jumbo-dumbo celebrity friends only heightened the press's eagerness to do some debunking. The *Wall Street Journal* story ran a sidebar to its article, "Buffett's Circle Includes the Moneyed and Powerful," namedropping people like Walter Annenberg.[2] Several of those mentioned in the story later said they were misquoted. Among them were Tom Murphy and a new friend, Bill Gates, CEO of Microsoft Corporation, who had gotten into a casual discussion with Murphy about how he was being "ripped off," as Charlie Munger put it, by the cost of producing television commercials. This conversation, which took place at a Buffett Group meeting, was portrayed by the *Journal* as musing over where the price of advertising was headed and what advertising rates should be, which might fall into a "gray area of antitrust."[3] Buffett and his friends sparred with the *Journal*'s editors with little effect. Meanwhile, Gates—who might have gotten annoyed at finding himself tangled in this public-relations mess involving antitrust issues less than a year after the Federal Trade Commission had launched a probe into possible collusion between Microsoft and IBM in the PC software marketplace—instead wrote Buffett an earnest letter apologizing for having embarrassed *him.*[4] At the time, Gates had known Buffett for less than five months.

The two had met that summer over the Fourth of July holiday, when Kay Graham and her *Washington Post* editorial-page editor and friend Meg Greenfield had dragged Buffett to Greenfield's house on Bainbridge

Island for a long holiday weekend. To Buffett, a weekend on an island a half-hour ferry ride from Seattle that could be escaped only by boat, seaplane, or hitching a ride over the bridge by car was an "anything for Kay" event. Greenfield had also recruited him for an all-day visit at the nearby four-house compound on the Hood Canal that Bill Gates had built for his family. Gates, twenty-five years Buffett's junior, was appealing to Buffett mainly because he was known to be brilliant and because the two of them were neck-and-neck in the *Forbes* race. But computers looked like Brussels sprouts to Buffett; no, he did not want to try them this once. Greenfield, however, had assured him that he would like Gates's parents, Bill Sr. and Mary, and that other interesting people would be there. With some reluctance, Buffett had agreed to go.

Kay and Warren drove down the dirt-and-gravel road to Meg's glass-walled contemporary house, where silky pink and purple sweet peas waved like pocket squares next to the front door. The weekend opened inauspiciously when Buffett learned that Graham and journalist Rollie Evans and his wife would be staying in the two guest rooms of Greenfield's house, which faced out toward Puget Sound. He, however, would be staying in a little guest house some distance away. When he got there, he saw that the owners had put a temporary bed in a sitting room downstairs for him, since the other rooms were fully occupied.

Buffett, who didn't really care about his surroundings, was a good sport about this sort of thing. Greenfield had stocked his room with Cherry Coke, See's Candies, and honey-roasted peanuts to make him more comfortable. The bathroom he was supposed to use, however, had a sign in it that said, "No TP." Baffled, he enlisted Graham and Greenfield, who had accompanied him to the bed-and-breakfast, as interpreters, since no one was around to explain. Neither of them could figure out what "No TP" meant either. They decided that there was probably something wrong with the plumbing. The facilities at Greenfield's house were too far away for Buffett to use except when he was visiting during the day. Greenfield pointed out a bathroom at the gas station nearby and suggested this alternative.

Buffett sat in his room that evening, eating his honey-roasted peanuts and drinking his Cherry Coke. Memories differ as to whether he visited the gas-station facilities in the small hours, only to find that the door was locked.[5] Either way, the next morning, at Greenfield's house, all of them puzzled again over what "No TP" meant.

After breakfast, Greenfield shepherded her guests into town to stand at the roadside among a small crowd of people sprawled in lawn chairs for the Fourth of July parade. Uncle Sam in a blue tailcoat and Stars and Stripes top hat oversaw a little brass band; fire trucks, an ambulance, and antique cars idled by; dogs trotted past in homemade costumes, led by their couturiers; high-kicking high school cheerleaders preceded a troupe of dozens who struggled to control a giant U.S. flag hoisted overhead. Another antique car or two rolled by, then a group of people dressed as strawberries, followed by the Kiwanis Citizen of the Year. Afterward, Greenfield held her annual garden party, at which guests in summery dresses and sport coats and ties played a vicious croquet match before the vivid backdrop of flowers rising from the lawn to her house.

The following morning, Buffett pulled on a cardigan and arranged his wayward hair into a neat gray comb-over. Greenfield crammed all five of them into her little car for the ninety-minute drive to the Gates compound. *"While we're driving down there, I said, 'What the hell are we going to spend all day doing with these people? How long do we have to stay to be polite?'"*

Gates had similar feelings. "I had a constant dialogue with my mom," he says, "which was, Why don't you come to the family dinner? No, Mom, I'm too busy, I'm working. So she told me Katharine Graham was coming, and Warren Buffett." He was interested in meeting Graham, now a seventy-four-year-old legend who had softened into an older but still patrician—and imperious—figure, like a witty version of Queen Elizabeth, but, "I told my mom, 'I don't know about a guy who just invests money and picks stocks. I don't have many good questions for him; that's not my thing, Mom.' But she insisted." Gates flew in on a helicopter so he could make a quick getaway. When a tiny car pulled into the driveway, he was surprised to see a group of famous people—Greenfield and her guests—pop out like a gang of circus clowns.[6]

Graham was taken over to meet Gates, who looked like a recent college graduate, in a red sweatshirt over a golf shirt, his collar turned up in a little saucer around his neck. While Gates was arranging for Graham to

take a seaplane ride, Buffett was introduced to Bill Gates Sr. and his wife, Mary.[7] Then Bill III, known as Trey, was brought round to meet Buffett.

Observers kept a weather eye on this introduction. Gates was well-known for unleashing his impatience on things that didn't interest him. Buffett no longer walked off to read a book when he was bored but had a way of disentangling himself very quickly from conversations he wanted to exit.

Buffett skipped the small talk; he immediately asked Gates whether IBM was going to do well in the future and whether it was a competitor of Microsoft. Computer companies seemed to come and go, and why was that? Gates started explaining. He told Buffett to buy two stocks, Intel and Microsoft. Then he asked Buffett about the economics of newspapers, and Buffett told him that they had gotten worse, because of other media. Within minutes the two were deeply immersed in conversation.

"We talked and talked and talked and talked and paid no attention to anybody else. I started asking him a whole bunch of questions about his business, not expecting to understand any of it. He's a great teacher, and we couldn't stop talking."

The day started to go by. The croquet games began. But still Gates and Buffett talked on, even as many of Seattle's best-known people circulated around them: Speaker of the House Tom Foley; chairman and CEO of Burlington Northern Jerry Grinstein; former EPA administrator Bill Ruckelshaus; Arthur Langlie, son of a former three-term governor, his wife, Jane, and their son Art; and Joe Greengard, a close friend of Greenfield's, plus a local doctor, judge, newspaper owner, and art collector.[8] Gates and Buffett took a walk on the pebbly beach. They were starting to attract attention. *"We were sort of ignoring all these important people, and Bill's father finally said, gently, that he'd prefer that we join in with the rest of the people a little more.*

"Bill started trying to convince me to get a computer. I said, I don't know what it's going to do for me. I don't care how my stock portfolio is doing every five minutes. And I can do my income taxes in my head. Gates said he would pick out the best-looking gal at Microsoft and send her to teach me how to use the computer. He would make it totally painless and pleasant. I told him, 'You've made me an offer I almost can't refuse, but I will refuse it.'"

As the sun descended toward the water during the cocktail hour, Buffett and Gates kept talking. At sunset the helicopter had to leave. Gates did not go with it.[9]

"Then at dinner, Bill Gates Sr. posed the question to the table: What factor did people feel was the most important in getting to where they'd gotten in life? And I said, 'Focus.' And Bill said the same thing."

It is unclear how many people at the table understood "focus" as Buffett lived that word. This kind of innate focus couldn't be emulated. It meant the intensity that is the price of excellence. It meant the discipline and passionate perfectionism that made Thomas Edison the quintessential American inventor, Walt Disney the king of family entertainment, and James Brown the Godfather of Soul. It meant the depth of commitment and mental independence that led Jeannette Rankin to stand alone as the only representative in Congress to vote against U.S. entry into both World Wars in the face of widespread ridicule. It meant single-minded obsession with an ideal. "Focus" meant the kind of person who could earn billions by allocating capital, yet be baffled by a sign that said "No TP."

Sometime during the weekend, a guest who was less focused had figured out that "No TP" stood for touchy plumbing that couldn't handle toilet paper. At last, the mysteries of the indoor facilities had been revealed and Buffett was liberated from the gas station. However, some traitorous member of the party—Graham, Greenfield, or one of the Evanses—had found the story so hilarious that even Buffett's introduction to the Gates family had included a recounting of the story of "No TP."

A day later, Buffett escaped the island and returned to the normal plumbing of Omaha. He could see that Gates was brilliant and that he understood business very well. But since the days when he told Katie Buffett

not to invest in Control Data and passed on the chance to invest in the start-up of Intel, Buffett had never trusted technology companies as investments. Technology companies came and went, their products often made obsolete. Now, his interest piqued, he bought a hundred shares of Microsoft, which, to him, was like eating a single Cheerio. He couldn't bring himself to buy any Intel, even though he sometimes bought a hundred shares just to keep track of a company. Grinnell College had made a lot of money from its Intel stock but had already sold it.[10] Buffett himself would never buy stock like Intel that depended so much on future growth and that he didn't fully understand. But he did invite Gates to the next Buffett Group meeting. Soon thereafter he had gotten the phone call from Don Feuerstein and Tom Strauss and for the next two months had thought of nothing but the miseries of Salomon.

In October, released from the conference rooms of 7 World Trade Center and the browbeatings of Congressmen and regulators for a few days, he went to Vancouver, British Columbia, for the latest meeting of the Buffett Group. FMC Chairman Bob Malott and his wife, Ibby, who were the planners, appreciated Native American culture and had arranged a "potlatch dinner" and Native American dance one evening. The person who introduced the dancers explained that the ceremony had been condensed from its usual length of three days. For the next several hours, the Buffett Group twitched and yawned on hard wooden benches with no refreshments and no escape. Roxanne Brandt leaned over to Buffett at one point: "Which is worse, this or Salomon?" she whispered. "This is worse," Buffett replied.[11]

Bill Gates avoided the evening of the dancers; he was coming to the meeting for only the one particular session that interested him. The Buffett Group was going to review the ten most valuable companies in 1950, 1960, 1970, 1980, 1990—and how the list had changed. What gave a business a durable competitive advantage? What gave companies an edge, and why didn't they keep it?—because most didn't.

Arriving late because his new seaplane had been delayed by fog, Bill and his girlfriend, Melinda French, slipped into the room unobtrusively from the rear. Melinda had thought that they were going to leave fairly early. However, after about the fourth slide, she realized that maybe they were going to stay.[12] Tom Murphy and Dan Burke, who both served on IBM's board, started talking about why IBM, the leader in hardware, hadn't gone on to become the leader in software. Buffett said, "I think we've got somebody here who can add a little something to this discussion." Everybody turned around and saw Bill Gates.[13] The conversation continued. If you were Sears in 1960, why couldn't you keep getting the smartest employees and selling at the best prices? What was it you couldn't see that prevented you from remaining the leader? Most of the proposed answers, regardless of the company, revolved around arrogance, complacency, and what Buffett called the "Institutional Imperative"—the tendency for companies to engage in activity for its own sake and to copy their peers instead of trying to stay ahead of them. Some companies didn't bring in young people with fresh ideas. Sometimes managements weren't attuned to tectonic shifts in their industry. Nobody suggested these problems were easy to cure. After a while Buffett asked everyone to pick their favorite stock.

What about Kodak? asked Bill Ruane. He looked back at Gates to see what he would say.

"Kodak is toast," said Gates.[14]

Nobody else in the Buffett Group knew that the Internet and digital technology would make film cameras toast. In 1991, even Kodak didn't know that it was toast.[15]

"Bill probably thinks all the television networks are going to get killed," said Larry Tisch, whose company, Loews Corp., owned a stake in the CBS network.

"No, it's not that simple," said Gates. "The way networks create and expose shows is different than camera film, and nothing is going to come in and fundamentally change that. You'll see some falloff as people move toward variety, but the networks own the content and they can repurpose it. The networks face an interesting challenge as we move the transport of TV onto the Internet. But it's not like photography, where you get rid of film so knowing how to make film becomes absolutely irrelevant."[16]

Now everybody wanted to talk to Gates, who could explain the new digital world and what it meant to them. "The next thing we knew, we were going on the boat that afternoon," says Gates. "And Kay was making sure that I didn't just talk to Warren." That was fortunate, because Buffett—who liked to glue himself to certain people—would have liked to become Bill Gates's Siamese twin. They headed out on Walter and Suzanne Scott's enormous boat, the *Ice Bear*. Graham introduced Gates to Tisch and Murphy and Keough and the rest.[17] In half a day, he and Melinda had become de facto members of the Buffett Group. A bunch of people dropped in and out of a come-and-go discussion of many things, during which Gates grumbled to Murphy about the high cost of his television advertising. A month later the *Wall Street Journal* story had appeared, portraying Buffett as a hypocrite rather than the complex personality he was, and making all of them regret—not the conversation about ad prices, but having responded after the meeting to questions from a reporter who didn't have a working tape recorder in his hand.

* * *

By 1993, thanks partly to the salvation of Salomon, Berkshire stock had nearly doubled. By the time Warren was starting to Buffett his way through the arbitration with John Gutfreund, it burst through $18,000 a share. Buffett was now worth $8.5 billion, and Susie's stock was worth $700 million. The original partners now had $6 million for every $1,000 they'd invested in 1957. Buffett was now the richest man in the United States.

Over the holidays, he and Carol Loomis turned to the annual ritual of writing and editing his chairman's letter, this time with the awareness of a much larger national—even international—audience. In May 1994, the same month that Gutfreund's arbitrators awarded him zero, Buffett held his annual shareholder meeting; more than 2,700 people arrived at the Orpheum Theater. Buffett told See's, the shoe companies, and World Book encyclopedia, which the company also owned, to set up booths in the lobby. See's sold eight hundred pounds of candy, and more than five hundred pairs of shoes walked out the door.[18] World Book sold well, too, although Buffett did not know that it, like Kodak, would soon be toasted by the Internet. Delighted with his shareholders' purchases, Buffett drove over to Borsheim's and made an appearance, then showed up at the Furniture Mart. "He goes out to where we have the mattresses displayed," said Louie Blumkin, "and he's selling, man."[19] Buffett started to think harder about the idea of hawking products at the shareholder meetings. He vowed to move the meeting to the Holiday Inn, which had more space for sales booths. And next year, he decided, he would also sell Ginsu knives.[20]

His rising fame swept most of the family along with it. Now that Buffett was worth more than $8 billion, his charitable foundation would be one of the five largest in the world, and his and Susie's decision to leave almost all of their money to it meant that it would be Berkshire's largest shareholder after he died. Reflecting that, he had recently added Susie, who was president of the Buffett Foundation but knew nothing about business, to the Berkshire Hathaway board. The foundation had been giving away about $3.5 million a year, which had doubled by 1994—still small by the standards of families of similar wealth. Its future riches, however, were well-known. The Buffett Foundation and its president were suddenly in the public eye.

When Susie had moved to San Francisco and made the decision to stay married to Warren while going her own way, she envisioned being able to keep the two halves of her life separate, quiet, and in balance. Never a thinker, she was caught by surprise when her husband became an icon of the business world, carrying her along with him. On the one hand, she wanted her privacy and freedom. On the other hand, she wanted to please Warren, enjoyed running the foundation, and also gravitated toward the elephant-bumping aspects of public life. Yet her role as president of the Buffett Foundation and now as a member of the Berkshire board made her a public figure. Susie was trapped. To fend off attention, she downplayed her role and explained that she was not important, just an accessory to Warren's fame. Thus, nobody should be interested in her, nobody needed to write about her or her life. To maintain her privacy, she had to juggle deftly, keeping a low profile in San Francisco and declining opportunities that went with her husband's rising stature. Susie expressed resentment of Warren from time to time to various people, as if it were his fault that her life was now so fraught.

Her routine with Warren now included the celebrity Sun Valley scene every July, the biannual Buffett Group meetings, which were held in different places every other year, family Christmas and New Year's in Laguna Beach, and two weeks every May in New York with the whole family. In between these trips, Susie counseled a long list of "clients," traveled to see her grandchildren and hosted them in Emerald Bay, and accompanied son-in-law Allen Greenberg on Buffett Foundation business, which took them to places as far away as Vietnam. She also entertained, went to parties, concerts, museums, spas, got pedicures, shopped, continued the never-ending renovation of the Laguna house, maintained her other relationship, wrote hundreds of cards and sent hundreds of gifts, and traveled frequently with friends. And she willingly dropped everything to be at the bedside of anyone who was dying or ill.

But her pace had been slowed by painful bouts of adhesions in 1987 and more adhesions and a hysterectomy in 1993. Kathleen Cole found herself shuttling her friend and boss to the emergency room distressingly often. She tried to coax Susie into exercising and to wean her off her steady diet of Tootsie Rolls, cookies, and milk by stocking the kitchen with low-fat SnackWells. But the Pilates equipment gathered dust downstairs, in a second apartment that Susie had convinced Warren to buy for her, and some friends noted that Susie routinely overextended herself with commitments to care for others.[21] The family seemed strangely unperturbed each time Cole called Nebraska to say that Susie had been hospitalized, as if they had adopted her serene attitude.[22] "Thank God I have my health," she often remarked, and continued to view herself as the well person who ministered to the ill, rather than the other way around.

By now she was running a hospice in her apartment. Her first patient was an artist friend who was dying of AIDS, whom she invited to move in and spend his final weeks there. Cole found herself administering IV drips to a terminal patient while Susie's other employees strolled in and out of the room, questioning her about foundation matters or the renovations and redecoration of the Laguna Beach house, still metamorphosing after a decade.[23] After that, whenever one of Susie's gay friends who was dying of AIDS neared the end, she invited him to come live with her. She and Cole took some of her dying friends on dream trips, one to Japan, another to Dharamsala, where she had arranged for him to have a personal audience with the Dalai Lama—what must have been an almost unimaginable spiritual experience for a man who was weeks from death. At one friend's request, she threw a *La Cage aux Folles*–like masquerade party instead of a memorial service after he died. She kept her friends' ashes on her mantel to make sure that someone would remember them. Peter took to calling his mother the Dalai Mama.

Howie, who had always absorbed so much of his mother's energy, now stepped out from under her wing at the same time that his father's growing fame began to have an impact on his life. During 1989, he had become chairman of the Nebraska Ethanol Authority & Development Board. Through this role, he became friendly with Marty Andreas, an executive at Archer Daniels Midland, a large Illinois-based agricultural company that was heavily involved in ethanol. Marty Andreas was nephew of ADM's CEO, Dwayne Andreas, who served on the Salomon board with Warren. Two years later, thirty-six-year-old Howie was asked to become the youngest member of the ADM board.

Dwayne Andreas had been charged, but acquitted, of making illegal political campaign contributions during Watergate; he also made huge and sometimes controversial donations to politicians of both parties while Congress was repeatedly passing the tax subsidies for ethanol that benefited ADM. Buffett's view that rich people and powerful business interests were far too able to buy access and influence with politicians conflicted sharply with the way that ADM did business in politics.

Six months after Howie joined the board, Andreas hired him for a job in public affairs. Howie had no public-relations or financial experience, although he did have a basic compass when it came to money and business that made him the most Buffettesque of his siblings. At a school bake sale for the local junior high kids, he worked the checkout line; when people handed him five bucks for a fifty-cent brownie, he looked them in the eye and said, "We don't have change." He told the principal, "This is how you raise money." All afternoon, people donated whatever was in their pocket because Howie refused to give them change.[24] Likewise, he was shrewd when it came to calling his father to talk about the job at ADM. He knew better than to take anything for granted. What happens to the donations I can make through the Sherwood Foundation if I accept this job? he asked. Buffett said he would not take that away. Okay, said Howie, perhaps

understandably worried about the impact of a desk job on his waistline, what about the rent deal on the farm? Buffett swapped him fixed for floating by letting Howie start paying a straight seven percent rent on what the farm had cost.[25] After nailing down another point or two, Howie agreed to move to Decatur, Illinois, where ADM was headquartered. The company put him in charge of working with analysts.[26]

On the surface, Howie's role at ADM had nothing to do with his surname or his father's recently burnished reputation as a paragon of corporate ethics. He would not have taken the job if he thought it did; and his expertise in ethanol made it plausible. His father had instilled in him disdain toward special privilege. However, while Howie had many years of experience with people trying to use him for his father's wealth, he was naive about large corporations, and he saw nothing remarkable in a major company hiring a member of its board of directors to work as a public-affairs spokesperson.

Buffett, who would never invest in a company like ADM or hire a person who mixed business and politics the way Andreas did, said nothing to dissuade his son from serving on a board and working for a company so dependent on largesse from the government. This uncharacteristic reticence speaks volumes about his longing for his son to gain some business experience and follow, at least to a degree, in his footsteps.

Andreas was tough and demanding, according to Howie, and gave him assignments like buying flour mills in Mexico and working on the North American Free Trade Agreement. But Howie remained the same person as before—driven by adrenaline, energetic, almost painfully honest, and vulnerable. At family trips and gatherings, he still surprised his relatives by jumping out of closets in his gorilla costume.[27] He wrote his mother letters brimming with tearstained emotion. His office looked like a teenager's bedroom, crammed with company tchotchkes: toy trucks with ADM and Coca-Cola logos and Coca-Cola bottles that played the company theme song.[28] Nevertheless, Howie felt that he was getting years of business education compressed into a short time.

In 1992, Buffett had invited Howie to join the board of Berkshire Hathaway, saying that his son would become nonexecutive chairman after he died. Howie's business experience was still light, he had never finished college, and he was more interested in agriculture than investing. He now had the beginnings of a credible résumé, however. Since Buffett was the largest shareholder of what amounted to a family corporation, he was within his rights to do this. His reasoning was that Howie would steward the culture after he was gone. He knew that his son was beginning to mature and was a principled individual.

Buffett now had to do some mental backflips, however, to reconcile all the statements he had made over the years—denunciations of the evils of the "divine right of the womb," dynastic wealth, and advantages based on parentage rather than merit—with his decision to make his relatively untested son the chairman of Berkshire Hathaway after he was gone. And it was not clear how Howie's role would complement that of the next CEO of Berkshire. That may have been the point. Every sign now indicated that Buffett would see to it that power would not be concentrated in any one individual after his death. This might inhibit Berkshire's potential or it might not, but it would fend off the grisly menace of the Institutional Imperative, which he viewed as the greatest danger that Berkshire faced. Buffett wanted a degree of control from beyond the grave, and this was his first step in getting it.

In a second step, he had put Susie Jr., then Peter, on the board of the Buffett Foundation, with the understanding that Susie Jr. would run the foundation after her mother died. This, by the assumption of all concerned, would not occur until after Warren himself was gone. Buffett's view of the foundation, as of so many other things, was that "Big Susie will take care of it." Susie Jr.'s shouldering of foundation responsibilities was presumably many years in the future; in the meantime he was coming to rely on her in other areas. A philanthropist in training, she played an active role in her father's civic and social life in Omaha. She had searched far and wide that year to find a hail-damaged car cheap enough to suit her father. She was helping him organize volunteers for the first Omaha Classic, a charity golf tournament he had started that would be attended mostly by his fellow CEOs but also by some celebrities.[29] As her father's fame increased, Susie Jr. was becoming his most frequent elephant-bumping escort, now that Kay Graham, in her seventies, was not getting out as much. Astrid, who only occasionally attended events with him, did volunteer work at the zoo and had no interest in serving on committees or chairing events. Her life was less changed

than almost anyone's by Buffett's newfound fame, interrupted only by the occasional gawker in the driveway.

Peter, too, kept his feet on the ground as his father's celebrity soared over him like a speeding hawk. He had moved to Milwaukee, headquarters of his record label, where he and Mary had bought a showy house, partly to use as a recording studio. The mansion that belonged to Warren Buffett's son made the papers, so now Peter was the family member who had transgressed and embarrassed his father by appearing ostentatious. After a stressful marriage, he had separated from Mary in May 1991, just before the Salomon affair started, and ever since had been going through a messy divorce. His father, long experienced as an observer of difficult divorces among his friends and family, was understanding of this. After the divorce, Peter formally adopted his twin stepdaughters, Erica and Nicole. While Big Susie had always embraced them as her granddaughters, Warren was more reserved. Later—with hindsight—it would become clear that he viewed the adoption as a new postmarital link forged between Peter and his ex-wife—a link that Warren did not feel bound by himself.

Introspective by nature, Peter found the end of his marriage catalytic and revelatory; he was doing inner work to create a solid identity after so many years of being overshadowed and submerged by others. Even during this traumatic period in his personal life, his career had progressed. He had already released several solo New Age albums. After reading *Son of the Morning Star,* a bestselling book about the Battle of Little Bighorn, his music had begun to reflect Native American elements, which resonated strongly with him. That had led to a job scoring the Fire Dance scene in *Dances with Wolves* and a live performance at the movie's premiere. He was now working on a movie score for *The Scarlet Letter* and a CBS miniseries, as well as beginning to create a multimedia show on the Native American theme of identity lost and reclaimed.

Peter was respected but not famous, a working musician but not a star. In the music world, the Buffett name meant nothing. His father was proud of his son's movie scoring and other work. But artistry divorced from fame or commercial success flew past Warren just the way his investing and business passion flew past Peter; their worlds did not connect. Yet, oddly, Warren and Peter were the most alike; both shared a passionate devotion to a vocation for which they had been destined from early childhood; both got wrapped up so obsessively in their work that they expected their wives to become their conduit to the outside world.

* * *

Buffett also now had, in effect, a third son—Bill Gates.

At first it was what Gates calls "a tiny bit of 'Warren's the adult and I'm the child.'" Gradually this evolved into "Hey, we're both in this learning at the same time."[30] Munger often attributed much of Buffett's success to the fact that he was a "learning machine." Although he was not going to learn to code software, and Gates wasn't going to learn to cite the statistics of every business for the last seventy years, their shared intellect, interests, and way of thinking gave them considerable common ground. They shared the same intensity. Buffett taught Gates about investing and acted as the sounding board for Gates's ruminations about his business. It was the way Buffett had learned to think in models that impressed Gates most. Buffett was as eager to share his thoughts about what makes a great business with Gates as Gates was eager to hear them.

If Buffett could have found more great businesses, he would have bought them all. He never stopped looking for them. The town where the Superinvestors of Graham-and-Doddsville lived was getting crowded, however. Wall Street as a whole had been overrun; there were fewer and fewer odd pockets of overlooked opportunity. Buffett had carved out more time and created more balance in his life; he no longer wandered off to read *American Banker* during dinner parties, and he genuinely enjoyed socializing. While his focus on business never lessened, as the nineties progressed, the deals became larger—but more sporadic. Meanwhile, a new interest took hold. It would not reduce his zeal for Berkshire, but it would alter his social priorities, his travel itineraries, and even his friendships.

What Buffett now wanted to do in his spare time was to play bridge. He had been playing a casual social

game for nearly fifty years, and while in New York to handle Salomon, he had started playing a more serious and competitive game. One day in 1993, he was playing in a simultaneous international bridge tournament with George Gillespie and met Sharon Osberg, who was partnered with Carol Loomis.

Osberg had grown up with a deck of cards in her hand. She was a former computer programmer who had started playing bridge in college. By the time she was running Wells Fargo's start-up Internet business, she had won two world team championships. It didn't hurt that she was a petite, sweet-faced brunette in her mid-forties.

"The next time she's going cross-country," Buffett told Loomis, "have her stop in Omaha. Have her call me."

"Where's Omaha?" Osberg said. It took her three days to build up the courage to pick up the phone, "scared to death. I'd never talked to a living legend before."[31]

Osberg, who lived in San Francisco, was on her way to Omaha a week or so later. "I've never been so scared, breathing in and out," she says. At Buffett's office, his new secretary, Debbie Bosanek, showed her into the inner sanctum. He greeted her by reaching into a box and handing her three dice. These were covered with an odd set of numbers, like seventeen and twenty-one and six and zero. "Now you can look at these as long as you want," Buffett said. "Then you pick any of them and then I'll pick, and we'll roll and see who wins." Osberg stared at the dice. She was so petrified that the numbers faded into a blur. After a few minutes with no response, Buffett said, "Well, let's just throw 'em." Three minutes later, he had Osberg crawling on her hands and knees rolling dice on his office floor. That broke the ice.

The secret of Buffett's "nontransitive dice" was that each die could be beaten by another; it was like the game "rock, paper, scissors," except that the players went one at a time.[32] Whoever chose first automatically lost—because the other player could simply choose whichever die would beat the one chosen first. Bill Gates figured it out, as had the philosopher Saul Kripke, but nobody else ever had.[33]

Afterward, Buffett took Osberg to dinner at his now-favorite steak house, Gorat's. He drove her through a residential neighborhood and pulled up next to a pharmacy and AutoZone store in the parking lot of what looked like a 1950s ranch house with metal steer heads next to the front door. A big blue globe traced with black continents highlighted the sign, "Gorat's finest steaks in the world." Seated in a room full of families eating at Formica tables, Osberg decided to play it safe and declared, "I'm going to have whatever you're having." A few minutes later she found herself looking at "a piece of raw meat the size of a baseball mitt." Afraid of offending a living legend, she ate it. Then they went to the local bridge club to play, after which, at ten o'clock, Buffett took her on a driving tour of Omaha so he could show off his collection. She saw the Nebraska Furniture Mart parking lot, she saw his house, she saw the house he grew up in, she saw Borsheim's, all from a moving car in the dark. Then he dropped her off at her hotel. Both were leaving early the following day.

The next morning, when Osberg was checking out, the front desk clerk told her, "Someone came in and left a package for you." Buffett had come to the hotel at four-thirty in the morning and left her a compilation of his annual reports to shareholders, which he had had privately printed and bound into a book.[34] She had just become one of Buffett's people.

Not long after, Buffett sent Osberg to meet Kay Graham when she was in Washington on a business trip. She filled in as a fourth at bridge with Graham and her friends Tish Alsop, widow of her friend Stewart Alsop; Cynthia Helms, wife of former CIA director Richard Helms; and Teeny Zimmerman, wife of Warren Zimmerman, who had recently been recalled as ambassador from the suddenly former Yugoslavia. Soon, Osberg was staying at Graham's house and playing bridge in Washington on a regular basis with people like Sandra Day O'Connor. She called Buffett from the guest bedroom. "Oh, my God!" she said. "There's a real Picasso in the bathroom!"

"I never noticed it and I've stayed there for thirty years," Buffett later said of the Picasso sketch. *"All I know is she leaves shampoo out."*[35]

Buffett began to time his trips to coincide with Osberg's business trips to New York. They played bridge at Graham's apartment with Carol Loomis and George Gillespie. *"We liked each other,"* says Buffett, *"although—she wouldn't say this, but—she was appalled at how badly we all played."* Osberg was so gentle that she could correct him without hitting the hair-trigger button in him that reacted to criticism—Buffett always avoided or limited his time with anyone he feared might criticize him. After a few hands, she would ask Buffett why he had played a particular card. "Now, we have a learning opportunity," she would say, and explain what he should have done.

Before long, the two had become fast friends. Osberg thought it was a shame that the only time Buffett got to play was when he was in a room with other bridge players. He needed a computer. They went round and round about this for several months. "You know, I think you might." "Nah! I really don't." "You know, you could play bridge." "Eh, not really." Finally Osberg said, "Warren, you really should just *try* it." "Okay, okay," he said. "You come to Omaha and set up the computer, you stay at the house."

Bridge and Osberg accomplished what even Bill Gates had not. Buffett had the Blumkins send someone over from the Furniture Mart to hook up a computer. He stopped the *Indefensible* in some Midwestern city where Osberg was playing in a tournament and ferried her to Omaha. They arrived at the house, she got acquainted with Astrid, then taught Buffett how to navigate the Internet and use a mouse. "And he was fearless, just fearless," Osberg says. "He wanted to play bridge." And only bridge. "Just write down the things I need to know to get in to play bridge," he told her. "I don't want to know anything about anything else. Don't try to explain to me what this thing is doing."[36] Buffett adopted the moniker "tbone" and began playing on the Internet four or five nights a week with Osberg ("sharono") and other partners. Astrid would fix him an early dinner before he logged on to his bridge game.

Before long, Buffett was so engrossed in Internet bridge that nothing could disturb him. When a bat got into the house and flapped around the TV room, banging into the walls and entangling itself in the curtains, Astrid shrieked, "Warren, there's a bat in here!" Sitting across the room in his frayed terry-cloth bathrobe, staring at his bridge hand, he never moved his eyes from the screen as he said, "It's not bothering me any."[37] Astrid called the pest-control people and they removed the bat, all without disturbing his bridge game.

Buffett felt his skills had improved so much under Osberg's tutelage that he wanted to play in a serious tournament. "Why not start at the top?" she said. They signed up for the mixed pairs at the World Bridge Championships. The Albuquerque convention center was filled with hundreds of people sitting around bridge tables and kibitzers wandering around watching the players. Murmurs and stares flew through the room when the richest man in the United States and two-time world champion Sharon Osberg strolled into the World Bridge Championships together. By now, enough people recognized Buffett's lanky frame and thatch of gray hair that he caused a stir. For an unranked amateur to show up at the world championships as his first tournament was an unusual thing. For Warren Buffett to do it was shocking.

Osberg expected that they would lose in short order, so the point was to have fun and get some experience. Instead, Buffett sat down at the table and seemed to shut out everything. It was as if there was nobody else in the room. His bridge skills were not close to the level of most other players, but he was able to focus as calmly as if he were playing in his living room. *"My defense is better with Sharon,"* he says. *"It's almost like I can feel what she's doing. And you can trust that everything she's doing has meaning."* Somehow his intensity overcame the weakness of his game. Osberg was amazed when they qualified for the finals. "We were just good enough," she says.

But after a day and a half of playing to get to this point, Buffett was exhausted and wrung out. The only breaks had been an hour here and there to slip out for a hamburger. He looked like he had run a marathon. In the break before the finals he told Osberg, "I can't do it."

"What?!" she said.

"I can't do it. Tell them we're not going to play in the finals. Tell them I had a business emergency," he said. Now Osberg had the job of explaining this to the World Bridge Federation.

Nobody who qualified for the finals had ever decided not to play. The representatives of the World Bridge Federation were outraged that Warren Buffett would come to their tournament, endorse it by his famous and important presence, qualify for the finals, then try to leave. "You can't do that!" they said. When Osberg insisted, they threatened to strip her of her ranking and credentials. "I'm not the one who won't play!" she insisted, repeating that he had a business emergency. Finally, they accepted that she was only Buffett's proxy, relented, and allowed the two of them to leave without punishing her.

Naturally, Buffett had encouraged Bill Gates, who had fooled around with the game a bit, to become a more serious bridge player. He also sent Osberg to Seattle to set up Bill Gates Sr. on the computer to play bridge, thus beginning to inject her into the Gates family.

Up until this point, he and Bill mainly saw each other attending football games, on the golf course, and at Microsoft events. But their relationship was gradually becoming much closer. On Easter weekend 1993, Bill and Melinda got engaged. On the way back from San Diego, Bill had the pilot give fake weather reports from Seattle to fool Melinda into thinking they were flying home. She was shocked when the aircraft door opened after they landed and Warren and Astrid were waiting on the red carpet at the bottom of the stairs. Warren drove them to Borsheim's, where CEO Susan Jacques helped them pick out an engagement ring.

Nine months later, Buffett flew to Hawaii for their New Year's Day wedding, which would take place on the twelfth tee of the Four Seasons Manele Bay golf course on the island of Lanai. Even though his sister Bertie owned a house on the Big Island of Hawaii, Buffett had never been to Hawaii before. He was as excited about the Gates wedding as if one of his own children were getting married, although it could have been held in Dubuque, Iowa, for all he cared. He felt that Bill Gates was making one of the smartest decisions of his life by marrying Melinda French. However, Bill and Melinda's wedding conflicted with Charlie Munger's seventieth birthday party, which was taking place the same weekend. The famously loyal Buffett never dropped his old friends but sometimes had to play Twister to manage his relationships. If a conflict arose, he tended to resolve it by appeasing whoever he thought was most likely to get upset at him—which generally meant that he slighted the most loyal and trustworthy of his friends, the ones he could count on not to criticize or get angry at him. This left the rejected person the paradoxical consolation that he was the one Buffett most trusted and felt closest to. People who loved him understood this, so they put up with it.

Munger, the long-standing friend, would tolerate almost anything of Buffett, even missing his seventieth birthday party. Gates was the newer friend; in fact, when it came to being in love with Gates, Buffett ran a close second to Melinda. So he opted for the wedding and brought Kay Graham with him. Graham, now seventy-six, traveled less often these days, but she still attended occasions of state like this. Moreover, Gates had just surpassed Buffett, who was now number two, to become number one in the U.S. money race. Together they made the tiny island of Lanai that New Year's Day the wealthiest resort on earth. Warren, meanwhile, had sent Susie to Los Angeles for Munger's party, where she sang.[38]

Susie, long the queen on Warren's chessboard, was used to this sort of thing. She had her own definition of what he needed from the women in his life, and pigeonholed each of them into a utilitarian category. One night when she was at dinner at Gorat's with Warren, Astrid, and Sharon Osberg, whom she had recently met, she looked around the table and surveyed the company. Only Kay and Carol Loomis were missing from the harem. She laughed and shook her head. "Someone for everything," she said. She had plugged Osberg into the "bridge" category. But Susie always downplayed the others' roles; and like all of Warren's women friends, each had the loyalty of Daisy Mae.

Before long, Buffett was talking to Osberg several times a day on the phone, taking her along as a traveling companion on his trips, and making her one of the closest confidantes among his friends. Much like Astrid, however, she stayed in the background rather than upset the perceived order of all his other relationships, which Buffett had always tended to separate. By the mid-1990s, the public perception of how he spent his time and the way he actually spent it had long diverged. Buffett still played Twister to try to avoid hurting anyone, but as always, conflicts were resolved to appease whomever might erupt on him. The shrieking wheel got the grease.

Sharon, like Astrid, was not a shrieker. She was quietly invited to Susie Jr.'s Thanksgiving dinners and included in bridge games with Bill Gates. A year after Bill and Melinda's wedding, the Gateses were celebrating their first anniversary on January 1, 1995, at their house in San Diego. Buffett invited Bill, Charlie Munger, and Sharon to come over for a New Year's Day bridge game. While Susie, long accustomed to Warren's choosing his own pursuits even in the midst of a family gathering, spent the day with family and friends, Gates, Osberg, and Buffett sat down at the bridge table to wait for Munger. Buffett, who always ran precisely on schedule, noted that it was time to begin but otherwise ignored Munger's tardiness since nobody else seemed bothered by it.

Gates was in a pleasant mood, but as they chatted, Buffett began growing irritated that they were being kept waiting. When Munger did not appear after a few minutes, Osberg suggested a game of three-handed bridge to keep the others entertained, partnering with both Buffett and Gates while keeping up her end of the conversation.

After forty-five minutes of three-handed bridge, Buffett, who was playing the polite host, cracking jokes and making conversation, trying to make everything okay, had become noticeably jumpy and restless. Suddenly, he flew out of his chair. "I know where he is," he said. He snatched up the phone and called the Los Angeles Country Club.

Whoever answered the phone went off to search. Within a few minutes he had located Munger in the golf grill, sitting with his cronies, as he habitually did every day when not at the office. He was about to take a bite of a sandwich.

"What are you doing, Charlie?" Buffett asked. "You're supposed to be playing bridge with us."

"I'll be there in a few minutes," Munger replied.

Without a word of apology, he hung up the phone, put down his sandwich, and headed out to the car.

Half an hour or so later, Munger strolled into the Buffetts' house at Emerald Bay, sat down at the table exactly as if nothing had happened, as if he hadn't noticed that he'd kept Bill Gates waiting for an hour and a half on his first anniversary, and said:

"Happy New Year. Let's play."

Stupefied, the other three sat in silence for a moment.

Then Gates said, "Okay. Let's play."

They played.

* * *

Another group of Buffett's loyal friends joined him for their biennial ritual when the Buffett Group held their meeting at the Kildare Club in Dublin in September 1995. Because Bill Gates was present (for Gates straddled all of Buffett's worlds, since Buffett would have liked to become his Siamese twin), the government of Ireland treated them like emperors. They were met at the airport by official government limousines and watched over by security agents in helicopters. They dined with the chairman of Guinness, the Taoiseach[*30] and his wife, and the U.S. ambassador, walked the cobblestones of Trinity College to the Book of Kells, and clapped their hands in awe at the sleek hunt stallions of the Irish National Stud in County Kildare. Never—even under Kay Graham's auspices in Williamsburg—had they experienced such luxury. Filled with incredible artwork and antiques, the K Club raised all of its own food on site and prepared it with a European staff and chefs.

The gloss and glamour of the surroundings belied the fact that the Buffett Group members, many of them fabulously wealthy by now, were largely unchanged. Warren saw some of these people only once a year or so; yet he remained utterly devoted to them. Bill Ruane was still gregarious and told long, funny stories. Walter Schloss still lived in a tiny apartment and picked stocks the same way he'd always done. The Stanbacks, among the richer members of the group, still would not dream of flying any class but coach. Sandy Gottesman still questioned everything skeptically and wanted an override on every deal. Tom Knapp had finished buying up huge chunks of the Maine coastline and started in on Hawaii. Jack Byrne was as pumped full of energy as ever. Roy Tolles still kept his thoughts to himself, except for shooting off a one-liner every now and then. Ed Anderson and Joan Parsons pumped money into human-sexuality research, but Ed still picked up pennies in the street, unless they were really dirty. Marshall Weinberg was still an irresistible flirt. Lou Simpson was still such a good stock picker that he had become one of the Superinvestors of Graham-and-Doddsville. Carol Loomis had made enough money from Berkshire stock to fly in a private jet but still couldn't buy a jar of pickles without reflecting on the luxury of pickles during her Depression-era childhood.[39] Retired from building gigantic dams and bridges, Walter Scott now built gigantic houses instead. After going to the theater, Joyce Cowin still walked up Broadway and across the park to the Upper East Side in a snowstorm rather than take a cab. Ajit Jain, now a Buffett Group member, spent most of his time in his room during the meetings, doing deals at a furious pace to please Buffett. Ron Olson, who had once been liked by most people that Buffett knew—except Judge Brieant—was now liked by most of the people in greater Los Angeles. Then there were Bill Scott, Mike Goldberg, and Chuck Rickershauser, all in various states of retirement from working for years close to the nice, warm sun, also all in various stages of recuperation from the effects of Rickershauser's Law of Thermodynamics.[40] Bill Gates, unlike the rest in so many ways, shared the group's intellectual interests and complete lack of pretense. As for Kay Graham, she remained their one real connection to echelons of society that titillated them even while failing to seduce them. "Oh, Princess Diana," she would say. "Such a good friend. Much more there than is obvious."

Amid the K Club's luxury, Buffett handed out copies of a booklet, *The Gospel of Wealth* by turn-of-the-century industrialist and philanthropist Andrew Carnegie. As he celebrated his sixty-fifth birthday, and took stock of his life to date, he had been rereading Carnegie. Now he led the group in a debate of Carnegie's premise that "He who dies rich dies disgraced." Carnegie had honored that philosophy, spending nearly his whole fortune, one of the greatest in history at the time, to establish libraries in towns and cities all over the United States.[41] Buffett had always planned to die rich and disgraced, as Carnegie would put it, so that there would be more to give away after he was gone. He insisted that the best use of his talents was to keep making more money until he died, and he had no interest in being personally involved in the foundation's work. That would be Susie's project. But he wanted to hear what other people thought and obviously was giving some consideration to this question.

They went around the table. Bill Ruane, who had never cared much about money and was poor compared with the rest, was about to undertake a project to transform the worst of New York's public schools. He would later go on to work with Columbia University to screen thousands of New York City schoolchildren for mood disorders and suicide risk.[42] Fred and Alice Stanback were among the most important donors to environmental causes in the United States. Tom Murphy was chairman of Save the Children. Jane Olson, Ron's wife, chaired the international board of Human Rights Watch. Before Dan's death, the Cowins had donated an important collection of art to the American Folk Art Museum. Charlie Munger gave to Good Samaritan Hospital and education. Walter and Suzanne Scott had donated huge amounts of money in Omaha. Ruth Gottesman served on the Albert Einstein College of Medicine Board of Overseers. Marshall Weinberg was gradually giving away nearly all of his money for scholarships, world health, Middle East issues, and educational research. The others had their own causes.

When his turn in the conversation came, Bill Gates said, Shouldn't the measure of accomplishment be how many lives you can save with a given amount of money? He agreed with Buffett that you had to make the money first in order to have the money to give away. But as soon as he had made a certain amount, Gates said, he was going to use it to save more lives in the present, by giving most of it away.[43]

The Buffett Foundation was spending very little money in proportion to Buffett's wealth. Buffett had chosen two main philanthropic issues, overpopulation and nuclear proliferation, problems that are almost

unimaginably hard to solve. Nuclear proliferation didn't lend itself well to financial solutions, although Buffett would have given as much money as he could to his highest priority, any plausible way of reducing the probability of nuclear war. His analysis of the problem was, characteristically, statistical.

"A nuclear attack is inevitable. It's the ultimate problem of mankind. If there's a ten percent probability that something will happen in a year, there's a 99.5 percent probability that it will happen in fifty years. But if you can get that probability down to three percent, that reduces the probability to only seventy-eight percent in fifty years. And if you can get it down to one percent, there is only a forty percent probability in fifty years. That's a truly worthwhile goal—it could literally make all the difference in the world."

The other great problem, in Buffett's view, was the strain placed on the over-burdened planet by too many people. Lacking a way to solve the nuclear problem, population control was where the Buffett Foundation had spent most of its money since the mid-1980s. This, too, he approached from a mathematical perspective. In 1950, the world's population had been about 2.5 billion. A mere two decades later, shortly after Paul Ehrlich's *The Population Bomb* was published, the world population was close to 3.7 billion.[44] Ehrlich had predicted that the 1970s and 1980s would be times of massive, worldwide starvation, with hundreds of millions of people dying. By 1990 the world's population had passed the five-billion mark, mass starvation had not occurred, and Ehrlich's ideas were no longer taken seriously by many experts—even though the population had grown dramatically. The debate essentially centered over whether technology could outpace population growth, species extinction, and global warming. Buffett looked at the problem of expanding population and diminishing resources in terms of a "margin of safety."

"There is a carrying capacity to the earth. It's far, far, far, far, far greater than [Thomas] Malthus ever dreamed. On the other hand, there is some carrying capacity, and the one thing about carrying capacity is that you want to err on the low side. If you were provisioning a huge rocket ship to the moon and had enough for two hundred people and didn't know how long the journey would take, you probably wouldn't put more than a hundred fifty people on the ship. And we have a spaceship of sorts, and we don't know how much the provisions are good for. It's very hard to argue that the earth would be better off in terms of average happiness or livelihood with twelve billion people instead of six.[45] *There is a limit, and if you don't know what that limit is, you're better off erring on the safe side. It's a margin of safety approach for the survival of the earth."*

Since the 1970s, Buffett had focused on giving women access to contraception and abortion—issues that were close to Susie's heart—as the answer to out-of-control population growth. This was a standard point of view among humanist organizations at the time.[46] Munger, Tolles had gotten Buffett involved in supporting an important court case in California, *People v. Belous,* which was a major step on the road to the landmark abortion ruling in *Roe v. Wade.*[47] Charlie Munger took up this case with a passion; the firm had chosen it out of concern over the way young women were being maimed and killed through illegal abortions. Buffett and Munger sponsored a "church" called the Ecumenical Fellowship, which became part of the country's abortion underground railroad.[48]

Buffett had been especially moved by the logic of Garrett Hardin, whose 1968 article "The Tragedy of the Commons" laid out the way that people who have no ownership stake in common goods—the air, the seas—overuse and destroy them.[49] While Buffett adopted many principles conceived by Hardin, a leader of the "population control" movement, he rejected solutions favored by Hardin, who espoused authoritarian ideas and took a eugenicist approach. Hardin had written that the meek not only would inherit, but already had inherited the earth. He considered this "genetic suicide": "Look around you. How many heroes do you number among your neighbors? Or your colleagues?…Where are the heroes of yesteryear? Where is Sparta now?"[50]

Buffett thought that the idea of bringing back Sparta had already been tried. The man who had tried it was Adolf Hitler. The Spartans had groomed themselves genetically by abandoning weak or "undesirable" babies on a mountain-side. Modern eugenics was a social philosophy formulated by Sir Francis Galton, who drew on the work of his cousin Charles Darwin and theorized that selective breeding of the human race could improve

the quality of the population. This notion had received extremely widespread support in the early twentieth century, until discredited by the experiments of Nazi Germany.[51] There was no safe way to think along lines like those Hardin was pursuing, which led to a deadly division of humanity into competing groups.[52] Buffett had renounced this view in favor of a civil-rights-based approach to the problems of spaceship Earth.

Accordingly, by 1994, Buffett's emphasis had shifted from "population control" to reproductive rights.[53] This change corresponded with a worldwide evolution in thinking among the population control movement. Women "were no longer to be treated as a convenient means toward the 'end' of population control."[54] Buffett had always felt that any means of solving the population problem that involved coercion was out of the question.[55] Now he went a step further. *"I wouldn't in any way limit a woman's right to bear children even if the world were extremely overpopulated, and I wouldn't ban the right to choose even if there were only two people on the planet and fertility was critical. I think the world should be limited to wanted people first. I don't think that the numbers should determine how many people are wanted. Even if everybody had seven children, I wouldn't do as Garrett Hardin said and link the right to the numbers."* So the Buffett Foundation supported reproductive rights.

Increasingly, the complexities and nuances of reproductive rights, civil rights, and population control had all gotten lost in the controversy over abortion. Buffett's giving ultimately was based on what he called the Ovarian Lottery.[56] He had passed the idea along to a group called Responsible Wealth. The idea had great resonance for Buffett.[57]

"I've had it so good in this world, you know. The odds were fifty-to-one against me being born in the United States in 1930. I won the lottery the day I emerged from the womb by being in the United States instead of in some other country where my chances would have been way different.

"Imagine there are two identical twins in the womb, both equally bright and energetic. And the genie says to them, 'One of you is going to be born in the United States, and one of you is going to be born in Bangladesh. And if you wind up in Bangladesh, you will pay no taxes. What percentage of your income would you bid to be the one that is born in the United States?' It says something about the fact that society has something to do with your fate and not just your innate qualities. The people who say, 'I did it all myself,' and think of themselves as Horatio Alger—believe me, they'd bid more to be in the United States than in Bangladesh. That's the Ovarian Lottery."

The Ovarian Lottery had come to shape all of his opinions about politics and philanthropy; Buffett's ideal was a world in which winners were free to strive, but narrowed the gap by helping the losers. In his lifetime he had seen the extremes of inequality; had grown up with the lynchings and beatings of the civil-rights years; and had heard over and over of the Court House Riot, authority shoved onto a scaffold with a noose around its neck, at a time and in a place when one group of people felt themselves more deserving than another. Perhaps without being aware of it, Buffett had many years ago abandoned the libertarian leanings of his father[58] and spiritually circled back toward the democratic idealism of Nebraska's William Jennings Bryan, who had written of "the class that the rest rested upon."

Buffett, one of the least peripatetic people imaginable in both philosophy and geography, could make the occasional tectonic shift if enough conviction piled up. Now, after he and Susie returned from Ireland, they met in Vancouver to embark on a seventeen-day trip to China, "Across Cathay." Buffett's motivation for this round-the-world jaunt was the Gateses. Bill and Melinda had gone to considerable trouble to make the trip enjoyable for him. Ahead of time, they sent him and the other guests a questionnaire asking what they liked to eat. Buffett was not taking any chances on an experience like the one he'd had at the Moritas'. "I don't eat any Chinese food," he responded. "If necessary, serve me rice and I'll just move it around on my plate, and I'll go back to my room afterward and eat peanuts. Please get me a *Journal* every day; it's really hard if I don't have my *Journal*."[59]

And so Buffett went to China.

After checking in to Beijing's grand old Palace Hotel on Goldfish Lane, the tour group met Dr. Robert Oxnam, president of the Asia Society, who was to be their lecturer for the trip.[60] Following a talk on modern China, they ate a magnificent Sichuanese dinner in the hotel's Emerald Room. Waiters placed course after course on the rotating platters: tea-smoked duck, twice-cooked pork with chili sauce, spicy chicken, and Sichuan hot pot. But the Gateses had arranged for the tour company, Abercrombie & Kent, to send people ahead to teach the chefs to make hamburgers and french fries for Buffett. To his delight he was served course after course of his french fries—even for dessert.

The following morning, the group set off to tour the Forbidden City, Beijing University, and the National Palace Museum. At Fangshan restaurant, for lunch, and again that evening at the Diaoyutai State Guesthouse, an imperial family fishing ground and retreat, Buffett was served hamburgers and french fries while the rest of the group feasted on Chinese cuisine.

In Beijing, the group met the Premier of China, and Gates arranged a Ping-Pong match between Buffett and a twelve-year-old champion. On the third day, Dr. Oxnam lectured on the history and folklore of the Great Wall. When they climbed to the top, the group found champagne awaiting them—and Cherry Coke for Buffett. Looking down at the world's largest structure, which represented eleven centuries of innovative engineering, human labor, and Chinese history, everyone waited for Buffett to say something profound. Surely he would be moved by the sight.

"Boy, I sure would have liked to have been the company that got the brick contract for this thing," he quipped.

The following morning, he skipped the martial-arts lesson in favor of a tour of the local Coca-Cola plant. The next day, the group boarded a Chinese military transport plane to fly to Ürümqi, a town in far northwestern China near Mongolia that was once an important stop on China's Silk Road. There, they would board a train—no ordinary train, for the Gateses had arranged for the group to be the first Westerners to rent Chairman Mao's personal train—for a journey across northwest China. The train followed the Old Silk Road route, making stops along the way so that the group could ride camels in the desert, visit ancient cities and caves, see the giant pandas in Xi'an, and tour the archaeological dig of the imperial Terra Cotta Warriors and Horses, believed to be the largest funerary site on earth. The trip allowed for hours and hours of conversation, during which Buffett and Gates continued their discussions of why some banks are better than other banks, why retailing is such a tough business, the value of Microsoft stock, and the like.[61]

On the tenth day they visited the site of the Three Gorges Dam project, then boarded the *M.S. East Queen,* a huge, five-deck cruise ship, with a ballroom, a barbershop, a masseuse, and a musician on the deck in formal clothes who played "Turkey in the Straw."

The boat passed into the first of the three gorges, the Shennong Xi, where many of those onboard donned orange life vests and climbed into longboats that were poled and pulled by river trackers along an upstream tributary of the river. A group of ten men using ropes dragged each boat against the current, while young, supposedly virginal girls sang to encourage the men at their grueling work.

Buffett cracked jokes about the virgins. But that night during the Cantonese dinner, his mind obviously flashing to the implications of the Ovarian Lottery, he said, "There could have been another Bill Gates among those men pulling our boat. They were born here, and they were destined to spend their lives tugging those boats the way they did ours. They didn't have a chance. It was pure luck that we had a shot at the brass ring."

From Shennong Xi, the boat steamed on to Outang Gorge, passing villages where schoolchildren came out to bow at the strange Americans. Past a silk-reeling mill, between sheer, mist-shrouded peaks, alongside a traditional cobblestone village, the boat slowly wound its way down the Yangtze. Finally, they arrived in Guilin for a private Li River barge cruise through one of the most scenically beautiful spots on earth, a pristine river lined with thousands of limestone pinnacles covered in a mantle of green, "like jade hairpins," according to the Tang poet Han Yu. Many of the Gates party bicycled along the riverbank to experience the long waterside parade of two-and three-hundred-foot-high untouched prehistoric stone shafts. Warren, Bill

Sr., and Bill Jr. had obtained permission from their wives to have an hours-long bridge orgy on the boat as the barge floated through the magnificent pine-forested landscape.

When they finally arrived in Hong Kong at the end of the trip, Buffett towed the Gateses straight to McDonald's to buy hamburgers in the middle of the night. *"And all the way back from Hong Kong to San Francisco and then on to Omaha, I just read newspapers."*

But long after that journey through China, for years afterward in fact, Buffett's mind kept returning over and over to one of its moments. It was not the scenery, which he had barely noticed, or the camel ride, memorialized in a photograph. It was not the endless meals of french fries during the Chinese banquets that everyone else had enjoyed. He was thinking about the Three Gorges Dam project and the longboats on the Shennong Xi. But it was not the singing virgins that had beguiled him. It was the fate of the men who spent their lives ceaselessly dragging the longboats upstream that stayed with him, haunting his thoughts about individual destiny and fate.

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To Hell with the Bear

Omaha and Greenwich, Connecticut • 1994–1998

Through the bridge, through the golf, through Ireland, through China, as late as 1994, Buffett devoured the *Wall Street Journal* every day looking for stock to buy for Berkshire Hathaway. But it was growing steadily more difficult to find a wonderful business at a fair price. He was still putting money into Coca-Cola, until he had spent a total of $1.3 billion on 100 million shares. He bought another shoe company, Dexter. Here he was a little outside his "circle of competence," making a bet that demand for imported shoes would wane.[1] A jeweler named Barnett Helzberg Jr., who knew about Borsheim's, saw Buffett in New York in a conversation on Fifth Avenue, and sold him Helzberg Diamonds almost on the spot. Buffett was also buying American Express stock again.

He wanted the rest of GEICO.

Since October 1993, GEICO had been run by co-CEOs: its chief investment officer, Lou Simpson, and Tony Nicely, a soft-spoken, silver-haired teddy bear of a man who had worked there since he was eighteen years old and now ran the insurance operations. Nicely had put the pedal to the floor, and GEICO, after a period of dormancy, started adding half a million new customers a year. In August 1994, Buffett talked to Nicely, Simpson, and Sam Butler, the chairman of the board's executive committee and the man who, many years before, had found Jack Byrne to rescue the company. Nicely, who did not enjoy dealing with Wall Street, had thought ever since he became co-CEO that GEICO should be privately owned.[2] He would much rather work for Buffett than a bunch of analysts and money managers.

Butler led the negotiation. He wanted stock and a price in the $70s. Buffett regarded that as outrageous. He wanted to pay cash and a price in the high $50s.[3] For a year, they bargained. Buffett pulled out the Circular Saw. This was his technique to cut the floor out from under GEICO by trying to make Butler feel the company was weak and vulnerable. The market was getting out of hand, Buffett said. This high-tech Internet stuff is going crazy and it's going to hurt the whole industry, including GEICO. You guys have a significant advantage selling over the telephone, but the Internet is going to narrow that quite a bit. It was apparent that by 1994, before the average person even had an e-mail address, Buffett, who supposedly knew nothing about computers, had already grasped how the Internet was going to affect the auto-insurance industry in the coming decades—better than the auto-insurance industry itself had.

But Butler was a tough and experienced lawyer, and couldn't be Buffetted. Berkshire's stock price had doubled in two years. That April, with BRK trading at $22,000 a share, *Money* magazine cited the Overpriced Stock Service newsletter, which said the price of BRK "makes sense only if the company is run by God." Butler refused to lower his number. He wanted as many Berkshire shares as he could get. The two reached an impasse. Finally, Buffett resorted to the ultimate weapon and brought in Charlie Munger as the Appointed Bad Guy. At Salomon, this had been predictably successful, but Sam Butler proved so tough that he couldn't even be Mungered.

After a year, it became clear that if Buffett wanted GEICO, he was going to have to meet Butler's price. Buffett wanted GEICO so badly that he capitulated. In August 1995 he paid $2.3 billion dollars for fifty-two percent of GEICO, after having spent $46 million for the first forty-eight percent. And he paid with Berkshire stock, not cash. Despite having fought so hard, Buffett actually regarded the price as reasonable looked at as a whole, given the bargain he'd gotten on the first half of the stock.

The GEICO deal marked a turning point. The stock market had been on a tear, with new offerings of hot stocks unexpectedly popular in 1994, coming on the heels of a big 1993.[4] In February 1995, the Dow hit 4,000 for the first time. Microsoft brought out Windows 95 and sold $700 million worth the first day. Suddenly everyone who worked in an office had a computer on their desk. People bought computers for their kids to do homework after school. Mothers of kindergarteners got e-mail addresses to keep up with carpool news. Web-site designers couldn't meet the demand from businesses. Computer hackers made front-page news.

In August 1995, an Internet service provider named Netscape went public to raise money for its expansion. Many people were familiar with Netscape's product, but the company had never earned a dime. So many calls to buy the stock came into banker Morgan Stanley that the company set up a toll-free number to handle them. Orders for 100 million shares poured in for a company that had originally wanted to sell 3.5 million shares.[5]

Despite Buffett's use of a computer to play bridge and the insights about the Internet that he had displayed in bargaining for GEICO, his knowledge of technology was spotty. He remained personally indifferent to computers, while the rest of the world couldn't buy them fast enough. Bill Gates took this as a challenge. He brought Buffett and Munger to a gathering at Microsoft to talk about technology. The evening before, he and Melinda held a dinner at their house at which she seated Munger with Nathan Myhrvold, chief technology officer of Microsoft. The two soon fell into a lengthy conversation about naked mole rats. A naked mole rat looks like a boudin blanc—a French milk sausage—with teeth; it feels no pain when cut, scraped, or burned.[*31] Munger, a science buff, had some tangential knowledge on this topic. Sandy Gottesman had once invested in laboratory mice, trying to make a quick buck on rising demand for experimental animals. But Gottesman's investment hadn't worked out, and he got stuck with a building full of mice under some bridge in New York City. The naked mole rat was a superior beast, not only insensitive to pain but parthenogenic: The queen of the colony fertilizes and gives birth without assistance from the males. Munger and Myhrvold held an animated conversation about the sex life of mole rats while the others sat listening in numb disbelief.[6]

The next morning, Gates took Buffett and Munger over to Microsoft so that his number two, Steve Ballmer, and half a dozen engineers could interview them, almost as anthropologists, so strange did it seem to them that these two incredibly brilliant men were such latecomers to the world of computers. They were like a couple of cavemen savants discovered in the bush who had seen an airplane but wouldn't take a ride. Despite his sense of the Internet's importance, for example, it had not yet occurred to Buffett to tell GEICO to hurry up and exploit the Internet to sell insurance. To Buffett, computers were just tunnels that enabled him to reach other people who could play bridge.

"That was quite interesting to Bill, because he saw how some guy who had no interest in the computer, per se, could be drawn in by an application. The computer itself was interesting to all the people around him—but to me, only the application was interesting. You sell the computer first to people who are interested in computers, and then you sell it to people like me who don't give a damn about computers."

Buffett, who deemed computers outside his "circle of competence," might still have been the richest man in America instead of Gates, had he bought stock in Microsoft and Intel. Instead, he was now number two. But he did not care. Or rather, he did care—he cared a lot; he would rather be number one, much rather—but he cared far more about avoiding excess risk. He didn't know which company would turn into the next Microsoft or Intel and which would crash and burn. He would never give up his margin of safety. He knew that the life cycle of many technology businesses was as short as a naked mole rat's.

Even had he been of the temperament to do so, Buffett didn't need to make risky bets. Decisions made years ago were still compounding for him. The hiring of Ajit Jain had meant that when Hurricane Andrew blew South Florida off the map in 1992, Buffett was able to start a new business, "catastrophe reinsurance," which charged a premium price to stand by as insurer of the unthinkable. Then the Northridge earthquake hit. Almost no one else had the capital to put up billions on a risk like that. But Berkshire Hathaway did.

Buffett's relationship with the Blumkins brought him the chance to buy R. C. Willey, a Salt Lake City–based furniture chain. The old days of scouring the *Moody's Manuals* for teensy companies were long gone; instead he played white knight once again to save FlightSafety from a corporate raider. This was a unique and profitable company that trained pilots and made the enormous flight simulators used for that training. He would go on to buy Star Furniture and International Dairy Queen. However, most of the ideas that were brought to him were what he called "cocker spaniels," when he had asked for "collies." In reply to these proposals, "If the phone don't ring you'll know it's me," he quipped in Berkshire's annual report.

Some may have thought, If he'll buy Dexter Shoe, Buffett will buy *anything*. He was starting to regret that deal. Dexter was getting killed by foreign competition; people had not lost their interest in buying imported shoes. But the mistakes were few and the home runs many: Cap Cities/ABC negotiated a deal to sell itself to Disney for $19 billion, and Berkshire made $2 billion, almost four times its original investment. Tom Murphy went on the board of Disney, and Buffett became linked to Michael Eisner, the CEO of Disney, through Murphy. At Sun Valley, the Buffetts now mingled easily with a crowd that ranged from Coca-Cola executives to movie stars. He also went back on the board of the *Washington Post,* which was now being run by Don Graham, one of his favorite people, enabling him to rejoin his favorite company in his favorite milieu —newspapers.

In early 1996, Berkshire stock suddenly rocketed to $34,000 a share, valuing Berkshire as a company at $41 billion. An original partner who invested $1,000 in 1957 and left it untouched would now have $12 million stashed away—double the amount of just a couple of years before. Buffett himself was worth $16 billion. Susie now had $1.5 billion worth of Berkshire stock—which she had promised not to touch.[7] Both she and Charlie Munger were now on the *Forbes* 400 list—as billionaires. Once invisible, Berkshire was noticed by people who had never heard of it before. That year, five thousand people from all fifty states came to the shareholder meeting–cum–discount mall.

Buffett took pride in having never "split" the stock and swore he never would. "My ego is wrapped up in Berkshire…." he said. "I can gear my whole life by the price of Berkshire."[8] But now it cost so much to buy a share of BRK that copycats set up investment trusts. Their idea was to mimic Berkshire Hathaway's stock portfolio and let people buy in smaller units, as if it were a mutual fund. But Berkshire was not a mutual fund; it was a perpetual-motion vacuum cleaner that sucked up businesses and stocks and spit out cash to buy more businesses and stocks. That couldn't be replicated by buying the stocks it owned. Among other things, you didn't get Buffett.

Moreover, the copycat funds were buying the stocks that Berkshire owned at prices far higher than Berkshire had paid, and charging fat fees to do it. They were cheating investors. Now the cop in Buffett came out.

"I don't want anybody buying Berkshire thinking that they can make a lot of money fast. They're not going to do it, in the first place. And some of them will blame themselves, and some of them will blame me. They'll all be disappointed. I don't want disappointed people. The idea of giving people crazy expectations has terrified me from the moment I first started selling stocks."

To foil the putative copycats, he decided to issue a new class of shares. Each B share—or "Baby B"—was equal to 3.33 percent, or 1/30, of a pricy A share.

He had great fun with the B shares, writing: *"Neither Mr. Buffett nor Mr. Munger would currently buy Berkshire shares at that price, nor would they recommend that their families or friends do so."* He added that *"current shareholders will not suffer any diminution in per-share intrinsic value, no matter how many Class B shares the Company decides it is necessary to sell."*[9]

By selling an unlimited amount of stock, they ensured that the price would not rise because of more demand than supply. *"You don't want people who think of it as something that can double, you know. And you can create your own market action for a while. I could have been a hero for a year as all the money poured into a fixed supply of stock. Instead, we said we would sell as much of this stuff as the world wants, and that way there is no way it can be a hot stock."*

At the same time, the inverted logic of selling stock that you wouldn't buy yourself, and explicitly saying so, pleased Buffett enormously. Moreover, issuing the B shares fulfilled a duty to his shareholder "partners." All that cash pouring in from the B shares would be a pretty good deal for them.

No CEO had ever done such a thing before. A small forest of trees was felled in media coverage of Buffett's honesty. Yet investors gobbled up the B shares anyway. Buffett thought them foolish and said so privately and often. Yet there was no denying it was enormously flattering that they did, for they were clearly buying only because of him. He would have been secretly disappointed had the B share offering been a flop. The B shares were a Buffett no-risk deal: His shareholders won, and Buffett won, no matter how the offering turned out.

The Baby Bs forever changed the character of Buffett's "club." After May 1996, forty thousand new owners could call themselves shareholders. The next year he moved the meeting to the grimy old Ak-Sar-Ben Coliseum, and 7,500 people showed up. They spent $5 million at the Nebraska Furniture Mart. The meeting turned into Woodstock for Capitalists, or BRKfest. At the 1998 shareholder meeting, ten thousand people came. Yet as the money and the people and the fame came rolling in, an underlying shift took place in the world in which Buffett worked that would have profound effects on him and everybody else.

There really was no such thing as "Wall Street" anymore. Now financial markets were a string of blinking terminals connected by computers hooked up to the Internet that reached every corner of the world. A guy named Mike Bloomberg, whom Salomon had been dumb enough to fire back in the eighties, had created a special computer that captured every piece of financial information that anyone could possibly want. It made graphs, it made tables, it did calculations, it gave news, it gave quotes; it could do historic comparisons and set up competitions between companies and bonds and currencies and commodities and industries for whoever was lucky enough to have a Bloomberg terminal on his or her desk.

By the early 1990s, the Bloomberg terminal was becoming ubiquitous. The Bloomberg saleswoman had called Berkshire Hathaway for three years in a row. "Nope" was the answer every time. Buffett felt that following the market minute to minute and manipulating computers was not the way to invest. Finally it became obvious even to computer-averse Buffett that to trade bonds you had to have a Bloomberg terminal. But the Bloomberg sat some distance from Buffett's office and he never looked at it; that was the job of Mark Millard, the bond trader.[10]

* * *

The advent of the Bloomberg terminal, symbol of the new computerized trading, mirrored the ongoing struggle over Salomon's identity, which continued within the firm. Its laggard businesses had never gotten back on their feet. In 1994, Maughan had tried to realign pay at Salomon on the theory that employees should shoulder the same risk as shareholders. When times were good, they would get bonuses, but when times were bad, they would suffer as well. There were people inside the firm who agreed with him.[11] But that was not

the standard anywhere else on Wall Street, so thirty-five senior people walked out the door. Buffett was disgusted with the employees' unwillingness to share the risk.

Deprived of Meriwether to bonus-pimp for them, the arbs fought for their share. Buffett was willing to pay them for results—the firm still made most of its money from arbitrage—but increasing competition made it harder for them to produce.

Arbitrageurs make a bet that a temporary gap of prices between similar or related assets will eventually tighten. For example, the bet may be whether two nearly identical bonds will trade at a closer price.[12] With so much new competition, the easy trades had become scarcer. The arbs took larger positions with more risk. When they were losing, they doubled down and increased the size of their trades. In both cases, they did so because margins on trades were falling, and doing bigger trades, often using debt, helped offset that.

The rules of the racetrack said not to do so, because you don't have to make it back the way you lost it. The reason is the math of losing money, which works like this: If someone has a dollar and she loses fifty cents, she has to double her money to make back what she's lost. That's difficult to do. It is tempting to borrow another fifty cents for the next bet. That way you only have to make fifty percent (plus the interest you owe on the loan) to get back whole—much easier to do. But borrowing the money doubles your risk. If you lose fifty percent again, you're history. The loss has wiped out all your capital. Hence Buffett's sayings: Rule number one, don't lose money. Rule number two, don't forget rule number one. Rule number three, don't go into debt.

The arbs' strategy, however, assumed that their estimate of value was right. Therefore, when the market moved against them, they only had to wait to make the money back. But "risk" defined this way—in terms of volatility—presumes the investor *can* be patient and wait. Of course, anyone who borrows to invest may not have that luxury of time. Moreover, to actually enlarge a losing trade required extra capital stashed somewhere that could be forked over on a moment's notice if the need arose. And capital has an opportunity cost.

Larry Hilibrand lost $400 million—an enormous sum—arbitraging the difference in interest rates on mortgage-backed bonds. He was convinced that he could make back the loss on the mortgage arbitrage if the firm would double his bet. Buffett agreed with Hilibrand in this instance and gave him the money for the trade—which in fact reversed to become profitable.

The arbs had an almost supernatural belief in their own abilities, and as their corner of the market became crowded, they wanted to expand into even more types of arbitrage that involved more variables and less certainty. They relied heavily on computer models driven by complex mathematics, but always said these were only guideposts. Buffett and Munger felt that using models to make investment decisions was like driving a car on cruise control. The driver might think he was fully alert and attentive, but would find out differently when the road turned winding, rain-slicked, and full of traffic.

What the arbs really wanted, however, even more than capital to invest, was J.M. During Salomon's recovery, Meriwether waited on the sidelines at first while the arbs begged to bring him back. But while Deryck Maughan made polite noises, everybody knew he did not want Meriwether back. Nevertheless, Buffett and Munger had given a thumbs-up, with some conditions. Meriwether had to have supervision. He could return to his old position but would have to report to Maughan, with less freedom to run his operation. Unwilling to work under a shorter leash, Meriwether had broken off negotiations and in 1994 went off to found his own hedge fund, Long-Term Capital Management. It would operate the same way as the bond arbitrage unit at Salomon, except that Meriwether and his partners got to keep the profits.

One by one, Meriwether's key lieutenants left Salomon to join him at the new harbor-front offices of Long-Term Capital Management in Greenwich, Connecticut. Deprived of his biggest moneymakers, Deryck Maughan saw the "for sale" sign heading for Buffett's block of stock and began planning for the day when Buffett would wash his hands of Salomon.[13]

* * *

In his 1996 shareholder letter, Buffett said that "virtually all stocks" were overvalued. Whenever the market ran hot it was because Wall Street was in vogue. That year, Maughan thought it timely to pitch the restaurant in front of Salomon's casino to Sandy Weill, CEO of Travelers Insurance, as the anchor tenant in a global financial shopping mall that could compete with Merrill Lynch. Weill supposedly still resented Buffett for the sweet deal Berkshire got after Weill's squeeze-out in the Fireman's Fund sale more than a decade earlier. He distrusted the arbitrage casino, but he saw an opportunity for the restaurant chain on a global scale. When he bought Salomon for Travelers, some observers felt that since Solly hadn't done well under Buffett, Weill saw it as a chance to beat Buffett at his own game. Buffett hailed Weill for the decision as a genius at building shareholder value.[14] And Travelers paid $9 billion for Salomon, bailing Buffett out of his problem-child investment.[15]

Meriwether, who knew that Buffett liked owning casinos, had gone to Omaha with one of his partners to try to raise money for Long-Term Capital for its February 1994 launch. They ate the now-obligatory dinner at Gorat's, where J.M. pulled out a schedule over his steak to show Buffett different probabilities of results and how much money Long-Term could make or lose. The strategy involved earning tiny profits on many thousands of trades, leveraged by at least twenty-five times the firm's capital. The highest loss that Long-Term contemplated was twenty percent of its assets, the odds of which it estimated at no more than one in a hundred.[16] Nobody estimated the odds of losses bigger than that. (If they did, no one would invest; the numbers wouldn't make sense. The projections in virtually all these types of models in every financial business always assumed the maximum "earthquake"-type loss could never happen—because the expected returns were never high enough to compensate investors for taking that risk.)

The name Long-Term came from the fact that investors were locked in. Meriwether knew that if he started losing money, he needed the investors to stay until the losses turned around. But so much leverage, combined with no way to cap the risk completely, made Buffett and Munger uncomfortable.

"We thought they were very smart people," says Munger. "But we were a little leery of the complexity and leverage. We were very leery of being used as a sales lead. We knew others would follow if we got in." Munger thought Long-Term wanted Berkshire as a "Judas goat." "The Judas goat led the animals to slaughter in the stockyards," he says, recalling Omaha. "The goat would live for fifteen years, and of course the animals that followed it would die every day as it betrayed them. Not that we didn't admire the intellect of the people at Long-Term."[17]

Long-Term charged its clients two cents off every dollar under management every year that they invested, plus a quarter of any profits it earned. Clients signed up for the prestige, but the "invest with a genius" approach put off other funds and firms on Wall Street. Nevertheless, it raised $1.25 billion, the largest hedge-fund start-up in history. The old arb team at Salomon now worked together in secrecy, with no outside interference and no more sharing of the profits with other parasitic Salomon departments. Indeed, the fund smoked in its first three years, quadrupling its investors' money. By the end of 1997, Long-Term had amassed $7 billion of capital. Then competition from start-up hedge funds depressed returns. Meriwether sent $2.3 billion of money back to investors; the rest was all the market could digest. The hedge fund in Greenwich was now running more than $129 billion in assets—and a like amount of debt—on only $4.7 billion of capital. In a near-instant replication of Buffett's steady accumulation of wealth, through the magic of fees earned on borrowed money, nearly half of the capital belonged to the partners themselves.[18] Despite the fifty-year-old Meriwether's difficulty making eye contact, he and his firm had a swagger to match their brilliant reputations, and the partners took full advantage of the fund's position to dictate terms to its clients, to the fifty-something banks from which it borrowed, and to its brokers (in many cases these parties were one and the same).

Beating Buffett's record was now the goal of most money managers in worldwide finance. Some thought Meriwether had at least an unconscious grudge against Buffett for failing to protect him at Salomon, then subsequently not hiring him back.[19] Unbeknownst to anyone, Long-Term Capital was shorting Berkshire

Hathaway, on the theory that BRK was overpriced relative to the value of the stocks that it owned.[20] Not only that, Long-Term set up a Bermuda reinsurance company, Osprey Re, named after the copper osprey that sank its talons into helpless prey in the fountain outside Long-Term's building. Osprey Re was going to insure earthquakes, hurricanes, and similar natural disasters—it was, in other words, entering Ajit Jain catastrophe reinsurance territory. The ditches on the roadside of the insurance highway were filled with wreckage. Buffett, the soul of prudence, had barely escaped himself once or twice in his younger days. Whenever a novice came along, better find the keys to the tow truck.

Gradually, as Long-Term's coffers swelled and imitators followed for the next several years, through early summer of 1998, lenders collectively began to realize that, as periodically happens, they had gotten too euphoric about the prospects that all these people to whom they had lent money would pay them back. Long-Term's competitors started dumping their dodgier positions as interest rates rose. That pushed down prices and set off a cycle of selling. But Long-Term had bet the opposite way, selling the safest assets and buying the riskiest, which were relatively cheaper. Its intricate models basically said that over time the financial markets were becoming more efficient, so the prices of risky assets would converge toward the prices of safer assets. Its biggest trades were a formulaic guess that the market would become less volatile, meaning that as the market bounced around, it would oscillate in smaller arcs. And historically that had been so. But as history had also shown, generally did not mean always. Long-Term knew that. It had made investors lock in their capital long enough to be safe—or so it thought.

On August 17, 1998, Russia suddenly defaulted on its ruble debt, meaning it would not pay its bills. When a major government stiffs its lenders, worldwide financial markets shudder. Investors began dumping everything in sight. A money manager had warned Long-Term, early on, that its strategy of eking out teensy profits on a zillion trades was like "picking up nickels in front of a bulldozer."[21] Now—surprise—the bulldozer turned out to have a Ferrari engine, and it was racing toward them at eighty miles an hour.

On Sunday, August 23, *"I was playing bridge on the computer. I picked up the phone, and it was Eric Rosenfeld at Long-Term."* The boyish Rosenfeld, forty-five years old and one of Meriwether's key lieutenants, was the person who had had the brain-numbing job of going through thousands of Mozer's trades at Salomon and reconstructing what went wrong. Buffett liked Rosenfeld. Now he had been deputized by Meriwether to cut back the portfolio's size by selling the firm's merger arbitrage positions. *"I hadn't heard from him for years. With fear in his voice, Eric started to talk about me taking out their whole big stock arbitrage position, six billion dollars' worth. They thought stock arbitrage was mathematical."*[22] Responding reflexively, Warren Buffetted Rosenfeld. *"I just said to Eric, I would take certain ones but not all of them."*

By a few days later, the market's gyrations had cost Long-Term half its capital. The partners had spent a week talking to everybody in their well-connected database, trying to raise money before they had to report this dire news to their investors on August 31. No dice. Now they agreed that Larry Hilibrand—the superrationalist whose sobriquet on Wall Street was still "the $23 million man," for the outsize bonus that had set Mozer off on his tear—would make a pilgrimage to Omaha and reveal what Long-Term owned.

The next day the Dow dropped four percent in what the *Wall Street Journal* referred to as a "global margin call," with investors panicking and selling. Buffett picked up Hilibrand at the airport and drove him back to Kiewit Plaza. The modesty of Buffett's smaller office, staffed by a handful of people and piled with Coca-Cola memorabilia, contrasted markedly with Long-Term's enormous digs in Greenwich, which featured two pool tables and a three-thousand-square-foot gym staffed by a full-time trainer.

Hilibrand had gone deep into debt to pump up his personal investment in the firm, leveraging the leverage with which Long-Term had already leveraged itself. He spent the day going over every position the firm owned and stressing the incredible opportunity he was offering to Buffett.[23] *"He wanted me to put in capital. He described the seven or eight big fundamental positions. I knew what was happening with relationships and on prices in these areas. I was getting more interested as time went along, because they were crazy relationships and spreads. But he was proposing a deal to me that didn't make any sense. They thought they had time to play the hand out. But I said no, so that was that."* Buffett told him, *"I am not an investor in*

other people's funds."[24] He was only interested as an owner.

Long-Term didn't want an owner, only an investor. It came close to finding somebody else, but then he backed out.[25] By month-end, when it had to report to its investors, the fund had lost $1.9 billion—almost half of its capital—through a historically unusual combination of stock-market declines and almost hysterical aversion to risk in the bond markets.[26] Since the model had contemplated losses of twenty percent as being a one-in-one-hundred-year event—like a moderate West Coast earthquake—this was somewhat like a Category 4 hurricane hitting New York City. Meriwether wrote his investors a letter saying losses of half the fund's money were a "shock," but "the opportunity set in these trades at this time is believed to be among the best that LTCM has ever seen…. The Fund is offering you the opportunity to invest in the Fund on special terms related to LTCM fees."[27] Long-Term was behaving as though it could raise capital to wait out the crisis and profit from its turnaround. But with the kind of leverage it had taken on, it didn't have that option. This was the fallacy of defining risk as anything other than losing money. Long-Term had not prepared for that. The firm's insular culture and years of getting its way had blinded the partners to the reality that no investor would put in money to save it without also taking control.

The day he read this, Buffett wrote a letter to a colleague and forwarded Meriwether's entreaty, saying:

Attached is an extraordinary example of what happens when you get 1) a dozen people with an average IQ of 160; 2) working in a field in which they collectively have 250 years of experience; 3) operating with a huge percentage of their net worth in the business; 4) employing a ton of leverage.[28]

Anything times zero is zero, Buffett said. A total loss is a "zero." No matter how small the likelihood of a total loss on any given day, if you kept betting and betting, the risk kept stacking up and multiplying. If you kept betting long enough, sooner or later, as long as a zero was not *impossible,* someday a zero was one hundred percent certain to show up.[29] Long-Term, however, had not even tried to estimate the risk of a loss greater than twenty percent—much less a zero.

In September the earthquake kept rumbling. Long-Term searched desperately for money, having now lost sixty percent of its capital. Other traders had started putting the squeeze on the fund, shorting positions they knew Long-Term owned because they knew Long-Term needed to sell, which would force prices lower. Investors were fleeing anything risky in favor of anything safe, to a point that Long-Term's models had never considered possible because it made no economic sense to them. Long-Term hired Goldman Sachs, which came in as a partner to buy half the firm. It needed $4 billion, an almost unimaginable sum for a hedge fund in distress to raise.

Goldman Sachs got in touch with Buffett to see if he was interested in a bailout. He wasn't. However, he would consider teaming with Goldman to buy the entire portfolio of assets and debt. Together they would be strong enough to wait the crisis out and trade the positions deftly for a profit. But Buffett had a condition: no Meriwether.

Long-Term owed money to a subsidiary of Berkshire. It owed money to people who owed money to Berkshire. It owed money to people who owed money to people who owed money to Berkshire. "Derivatives are like sex," Buffett said. "It's not who *we're* sleeping with, it's who *they're* sleeping with that's the problem." As Buffett headed to Seattle that Friday to meet the Gateses and embark on a thirteen-day "Gold Rush" trip from Alaska to California, he called a manager and told him, "Accept no excuses from anyone who doesn't post collateral or make a margin call. Accept no excuses."[30] He meant that if the Howie-equivalents out there paid the rent one day late, then seize their farms.

The next morning he, Susie, the Gateses, and three other couples flew to Juneau to helicopter over the ice fields. They cruised up the fjords to view huge blue icebergs and waterfalls cascading over three-thousand-foot cliffs. But as Buffett sat politely through a slide presentation on glaciology on board the ship that evening, his mind wandered to whether Goldman Sachs would be able to put together a bid for Long-Term. Predatory sellers had pushed prices so far down that Long-Term was a cigar butt. An

opportunity to buy such a large bundle of distressed assets had never arisen so quickly in his career.

The next day, the Gates party went ashore at low tide to view the hundreds of brown grizzly bears that frequented Pack Creek. Jon Corzine, the head of Goldman Sachs, called Buffett on his satellite phone but kept being cut off. *"The phone didn't work because of these half-mile-high rock walls on either side of the boat. The captain would point out, Look, there's a bear. I was saying, To hell with the bear. Let's get back where I can hear the satellite phone."*

Two or three hours went by with Buffett held incommunicado as the party spent the afternoon crossing Frederick Sound so they could view the humpback whales. Corzine stewed in New York before he regained brief—and final—contact with Buffett. By the time Buffett resignedly trudged off to view a slide show on Alaskan marine wildlife that evening, Corzine had gathered that he could make a bid, as long as the investment had nothing to do with, and was not managed by, John Meriwether.

On Monday, Buffett remained out of touch and Corzine grew pessimistic about working out a bid. He had begun to talk with Peter Fisher, who ran trading activities at the Federal Reserve, and was drawing together Long-Term's creditors to negotiate a joint bailout. The Federal Reserve had held a conference call at which its chairman, Alan Greenspan, spoke of an "international financial maelstrom" that must be causing "considerable breakage to crockery somewhere."[31] Hope began to stir that the Fed would cut interest rates.

Meanwhile, Long-Term lost another half billion dollars; the banks picking over its books were using what they learned against it.[32] The fund now had less than a billion dollars of capital left. The irony was the $2.3 billion it had paid out to its own investors a year before in order to increase the share of the fund owned by its partners. If it had that money now, Long-Term might have been in a position to survive on its own. Instead, it had a hundred dollars of debt for every dollar of capital—a ratio no sane lender would ever entertain.

Buffett was en route to Bozeman, Montana, with the Gates party, but Corzine had reached him earlier that morning and gained permission to enlist a large insurer, AIG, which owned a derivatives business, to join the bid. Its chairman, Hank Greenberg, was on friendly terms with Buffett. AIG had the experience and the team to replace Meriwether as manager, and Greenberg's powerful presence would balance out Buffett's—and it might make Buffett's bid more palatable to Meriwether.

The next morning, forty-five bankers arrived at the Fed, as summoned, to discuss a bailout of the customer that had bullied them so relentlessly for the past four years. Long-Term had them over a figurative barrel once again, for if it went down, other hedge funds would go down with it. As one domino fell after another, a global financial meltdown was a real possibility—a repeat of Salomon. This was the warning that Buffett and Munger had been repeating at their shareholder meetings since 1993. Some of the banks now feared for their survival unless they helped save the fund. They were reluctantly contemplating putting more money into Long-Term—money that would only go to pay Long-Term's debts—on top of money they had already invested in the fund and lost. When Corzine told them Buffett was also bidding, the idea that he was going to come in and buy it to make a killing went down poorly, even though he would be bailing everybody out. Somehow, Buffett always won. People found it irksome. New York Federal Reserve Bank President William McDonough called Buffett to find out if he was serious. About to board a bus for Yellowstone National Park, Buffett told McDonough that, yes, indeed, he was ready to make a bid and could do so on short notice. He couldn't see why the Federal Reserve would be orchestrating a bailout when Berkshire, AIG, and Goldman Sachs, a group of private buyers, stood ready to solve the whole problem without government assistance. He called Long-Term around eleven o'clock New York time on a crackly satellite phone and said, "I want you to know, I'm going to bid for the entire portfolio. You'll hear from my representatives, but I want you to know it's coming from me, and I hope you'll take it seriously."

"I didn't want to hold the bus up, so I went along. It was killing me. And Charlie was in Hawaii. I still knew the basic positions that were involved, and I knew these spreads were really getting more and more extreme. On that Wednesday morning, it was changing by the hour."

An hour later, Goldman faxed a single page to Meriwether offering to buy the fund for $250 million. As part

of the deal, Meriwether and his partners would be fired. If Meriwether accepted, AIG, Berkshire, and Goldman would put another $3.75 billion into Long-Term, with Berkshire funding most of that. To minimize the chance of Long-Term shopping the bid to gin up a higher offer, Buffett had given them only an hour to decide.

By then, Long-Term had just over $500 million left, and Buffett was bidding just under half that. After paying off debt and losses, Meriwether and his partners would be wiped out, their nearly $2 billion of capital gone. But the document had been drafted by Goldman with a mistake in it. It offered to buy LTCM, the management company, instead of its assets, which Meriwether knew was what Buffett wanted. Meriwether's lawyer said he needed his partners' consent to sell the entire portfolio rather than the management company.[33] Long-Term asked for a temporary emergency investment pending receipt of the approvals. But they couldn't reach Buffett on his phone. If they'd reached him, he said later, he would have taken that deal. While everybody else on the Gold Rush trip was looking at hot springs, Buffett was dialing and redialing the satellite phone in Yellowstone, trying to call Corzine at Goldman and Hank Greenberg at AIG. The phone didn't work. He had no idea what was going on back in New York.

The people at Long-Term did not know what was going on in the room with the bankers, where McDonough was in a quandary. He had an offer from the Berkshire-Goldman-AIG consortium but no deal. It was hard to justify government involvement in orchestrating a bailout when there was a viable private bid on the table. Finally, he told the assembled bankers that the other bid had failed for "structural reasons." Buffett was not there to make a counterargument. The Federal Reserve brokered a deal in which fourteen banks put up a total of $3.6 billion. Only one bank, Bear Stearns, refused to participate, earning the long-lasting enmity of the rest. Meriwether's crew negotiated an arrangement for themselves that they considered slightly better than "indentured servitude."[34]

That night at the Lake Hotel, Buffett found out what had happened. He felt that Meriwether didn't want to sell to him. If he had wanted to, he would have found a way. Perhaps it had weighed on Meriwether's mind that, as one of the fund's partners said, "Buffett cares about one thing. His reputation. Because of the Salomon scandal he couldn't be seen to be in business with J.M."[35] Meriwether had certainly gotten a better deal from the bailout than he would have with Buffett.

The next day, as they boarded the bus to visit Old Faithful geyser, Buffett was still turning over in his mind whether there was some way to undo it. Gates had a treat in store. When they arrived in Livingston, Montana, in early afternoon to board a nine-car private train fitted out with burnished wood and polished leather that Gates had rented, Sharon Osberg was waiting along with Fred Gitelman, a low-key computer programmer and bridge player. Gates had flown them in. While everyone else was admiring the cliffs and waterfalls of the Wind River Canyon, the foursome retired to an upstairs lounge with a transparent dome for a twelve-hour bridge marathon. Periodically, Buffett's phone rang and he talked with someone in New York about Long-Term as the spectacular scenery rolled past. It still might not be too late to unwind the impending bailout and resurrect a private deal. But it wasn't working out.[36] At least the bridge distracted him.

The next morning, after a final round of bridge, the train rolled to a halt and dropped Osberg and Gitelman off in Denver, then continued through Devil's Hole Canyon and Dead Man's Gulch. Over the next few days, as the others went white-water rafting and mountain biking and the train wound its leisurely way to the Napa Valley via the Grand Canyon, Buffett read about the rescue in the newspapers and gradually lost hope of participating.

Only seven years after the regulators had contemplated letting Salomon fail—with all the consequences that that potentially entailed—the Federal Reserve had now engineered the bailout of a private investment firm, an unprecedented intervention in the market to avoid a similar event. Afterward, the Fed slashed interest rates three times in seven weeks to help keep the financial stumble from paralyzing the economy. It was by no means certain that any such paralysis would occur, but the stock market took off like a screaming banshee.[37] Long-Term's partners and most of the staff worked for a year for $250,000—pauper's wages for people used to making millions a year—to unwind the fund's positions and pay back most of the emergency creditors.[38] Hilibrand, in debt for $24 million, signed the employment contract with tears streaming down his

cheeks.[39] Still, nobody starved, even though Eric Rosenfeld had to auction off Long-Term's wine collection. Most of them got good jobs afterward. Meriwether made a comeback to start a smaller, less leveraged fund, taking some of his team. People thought the partners had gotten off light, considering that they had nearly sent the whole financial world into a seizure. And Buffett considered it one of the great missed opportunities of his life.

Eric Rosenfeld had an insight. Maybe models didn't work when the world went mad. For that you needed a lot of capital, the kind that Berkshire Hathaway offered. After all, if you were going to bet by a hundred billion or more in favor of risk, you needed a partner, even a parent, one with so much capital that it essentially undid the leverage, somebody to provide a big umbrella in a storm.[40] By implication, maybe they would have been better off being owned by somebody like Berkshire Hathaway. But that would have meant giving up their ownership…. You couldn't have it both ways. If you wanted Berkshire to take the risk and put up the money, to it went the gains.

To think otherwise was unrealistic—that somehow risk could be laid off to someone else without also giving up the rewards. But that point of view was growing and beginning to dominate the financial markets of the late 1990s. It would have profound consequences over time.

It is hard to overstate the significance of a central-bank-led rescue of a private money manager. If a hedge fund, however large, was too big to fail, then what large financial institution would ever be allowed to collapse? The government risked becoming the margin of safety.[41] No serious consequences had come about in the end from the derivatives near-meltdown. The market afterward seemed to behave as if no serious consequences ever could. This threat, the so-called "moral hazard," was a chronic worry of regulators. But the world would always be full of people who loved risk. When it came to business, Buffett's veins were filled with ice, but plenty of other people's pulsed with adrenaline much of the time. Some of them had even been members of his own family.

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Chickenfeed

Decatur, Illinois, and Atlanta • 1995–1999

Howie and Devon were on the lam. He had walked out of the office at ADM on a Friday knowing he would never return. A pack of reporters had been camped out in their driveway ever since. He and Devon started packing. They sneaked out of Decatur at dawn on Sunday on a rented prop plane to fly to Chicago, where they met family friend Don Keough, who was giving them a ride to Sun Valley on his private jet. Since reporters weren't allowed inside the Allen conference, Howie thought they would be safe.

He had been pacing the floor for ten days, ever since Mark Whitacre, an excitable manager he knew at ADM, suddenly confessed to him that he was acting as an FBI mole. Whitacre told him that the FBI was going to arrive at Howie's house at six o'clock on Tuesday night for an interview. Now Howie knew why Whitacre kept showing up at work for several days in a row in the same greenish polyester suit: He had been wearing a wire. Ever since Whitacre made his confession, he'd been calling every day, blathering his anxieties at Howie, who tried to disentangle himself. Howie hadn't busted Whitacre, but he could tell from the panic in Whitacre's voice that he must be cracking under the stress.

That Tuesday night, Devon tried to fix dinner with shaking hands. When the doorbell rang, Howie wanted to throw up. In came a guy in a suit—who told him he was not a target. Three hundred FBI agents were fanned out across the country, interviewing other people about price-fixing of an ADM product called lysine that

was used in chicken feed.

Howie was terrified but had made up his mind to be completely forthcoming with the FBI. He said he didn't trust Dwayne Andreas, who had put him in charge of funneling requests for political contributions, a role, given Andreas's history, that might have made anybody's stomach churn.[1] He told the agent that the previous fall Andreas had rebuked him when he raised ethical questions about providing entertainment to a Congressman. Howie didn't know anything about price-fixing, however.

The second the FBI agents left, Howie called his father, flailing, saying, I don't know what to do, I don't have the facts, how do I know if these allegations are true? My name is on every press release. How can I be the spokesman for the company worldwide? What should I do, should I resign?

Buffett refrained from the obvious response, which was that, of his three children, only Howie could have wound up with an FBI agent in his living room after taking his first job in the corporate world. He listened to the story nonjudgmentally and told Howie that it was his decision whether to stay at ADM. He gave only one piece of advice: Howie had to decide within the next twenty-four hours. If you stay in longer than that, he said, you'll become one of them. No matter what happens, it will be too late to get out.

That clarified things. Howie now realized that waiting was not a way to get more information to help him decide, it was making the decision to stay. He had to look at his options and understand *as of right now* what they meant.

If he resigned and they were innocent, he would lose friends and look like a jerk.

If he stayed and they were guilty, he would be viewed as consorting with a gang of criminals.

The next day Howie went in, resigned, and told the general counsel that he would take legal action against the company if they put his name on any more press releases. Resigning from the board was a major event. For a director to resign was like sending up a smoke signal that said the company was guilty, guilty, guilty. People at ADM did not make it easy for Howie. They pushed for reprieve, they asked how he could in effect convict them without a trial. Howie held firm, however, and got out.

Two days later, when the announcement of his resignation became public, the reporters camped out on his doorstep. The name Buffett attached to a scandal was like red meat to rottweilers. The wisdom of moving fast was even more apparent now that he and Devon had to manage a getaway from their own home.

But Howie soon found that despite the absence of reporters, who were excluded from the event, even Sun Valley was not safe. One of the first people he saw in the lobby of the Sun Valley Lodge was another ADM board member. This man, who would be around all weekend, poked him in the chest and said, "You've just made the biggest mistake of your life."[2]

He couldn't have been more wrong. Howie had just saved himself from being associated with a disaster in which three top executives, including the vice chairman Michael Andreas, would go to prison in the biggest price-fixing case in American history.[3] ADM paid an enormous fine to settle with the government, and its reputation took a hit that would shadow it for years.

Now, however, the contretemps had left Howie out of a job. Big Susie, who was concerned about him and also about Susie Jr., who was getting divorced from Allen, swung into action and convinced Warren to begin a tradition of giving each of the kids a million dollars once every five years on their birthdays, starting then. Buffett not only went along but bragged on himself for beginning this tradition. He had begun to loosen up significantly when it came to money. Susie's allowance had expanded dramatically. At her behest, Buffett bought another house in Laguna next to the first, known as the "dormitory," to house all the children and grandchildren and visitors.[4] Susie's Pacific Heights apartment, up a million stairs with no elevator but with an amazing view of the Golden Gate Bridge and Alcatraz, had been transformed to feature white lacquered walls and carpeting in her trademark sunny yellow. Almost every inch of space was covered with things she

had purchased, collected from her travels, or been given by friends. There were paintings and masks created by artist friends, a Chinese altar cloth, a Balinese tapestry, Tiffany glass, souvenirs and tchotchkes of all kinds, some expensive, many cheap and offbeat. They filled her walls, cabinets, closets, and drawers to overflowing.

The effect struck observers, depending on their perspective, as colorful, beautiful, and a wonderful reflection of Susie's personality, or a chaotic magpie's nest of things. Susie was always lobbying for more space; along with the second apartment she had convinced Warren to buy her on the ground floor of her building, unknown to him, she had also begun to rent storage rooms around San Francisco to house her ever-expanding collections.

Susie's ministry to the sick and dying seemed to compound as rapidly as her collections. She had carried on her work with AIDS sufferers through the 1990s. Then her sister Dottie began a battle with terminal cancer. All through Dottie's earlier struggles—with alcoholism, with health and marital problems, with the death of her son Billy—Susie had been by her side. Susie stayed in Omaha to nurse her sister through her last months and days. When Dottie finally died, another person Susie had not, in the end, been able to save, it was the greatest loss she had suffered since her nephew's terrible death by overdose. And Susie was now the last person alive from her original family.

In summer 1996, she had to help Warren deal with the death of his ninety-two-year-old mother. Even in her later years, Leila had never stopped berating the family. She could still work Doris over on the phone or during a visit, barely stopping for breath for an hour or more, sending Doris into tears and ending with "I'm glad we had this little talk." Warren himself continued to avoid Leila, having relegated most of the caretaking to Susie Jr. He spoke much more often and more fondly of Rose Blumkin than he ever did of his mother. When Astrid and Sharon Osberg took him out to visit Leila, he was a "wreck," and the two women would talk to Warren's mother while he sat by anxiously, not participating in the conversation. As Leila's memory faded, her story mostly wound down to the $38^{1}/2$ wonderful years with Howard and one other topic that seemed to have lodged itself in her mind during Warren's infancy: "Isn't it a shame about the little Lindbergh baby?" she would ask. "Isn't it a shame?"

After Leila died—on Warren's sixty-sixth birthday—the family assembled for a funeral, their grieving complicated by a cauldron of mixed emotions. She went to rest as the person she had been; any hopes of what she could have become had things been different went to the grave along with her.

"I cried a lot when my mother died. It wasn't because I was sad and missed her. It was because of the waste. She had her good parts, but the bad parts kept me from having a relationship with her. My dad and I never talked about it. But I really regret the waste of what could have been."

With both his parents gone, Warren was the senior member of his family, the watchkeeper at that thin boundary between life and death. It was his sisters, however, whose lives were most affected by Leila's death. They were surprised to find themselves inheriting a sizable amount of Berkshire stock from their mother, more than they had originally owned themselves, along with the first distribution from their father's trust set up by their brother years before. Bertie had kept all her Berkshire stock from the beginning, and had her own philanthropic interests. She had always tended to contribute her energy and effort quietly, behind the scenes and did not want to play a leading role. And Doris now had real money again, for the first time since the "naked puts" debacle had wiped her out in 1987. For Doris, her mother's death was a new beginning. She set up her own foundation, the Sunshine Lady Foundation, and started her giving with the Edith Stahl Kraft Outstanding Teacher Award, named after their aunt Edie—and modeled on the Omaha teacher awards named after their aunt Alice that her brother's foundation gave out.

Warren's sisters were now rich. Two of his children also had a little money, thanks to Susie's persuasiveness about the million-dollar birthday gifts. Buffett had never demanded an accounting of the huge amounts it took to fund Susie's largesse, although he scratched his head and wondered what on earth she did with all the money. The tax complication of the large gifts to their children, however, required that she give Warren a history of her gift-giving. He had always been proud of her generosity, although not always pleased about those who benefited from it. He was now particularly displeased by some of her larger gifts, which flew in the

face of what he had understood about the nature of their marriage. His impression that she had ended her other relationship stood corrected. Despite the parallel between his own complicated personal life and Susie's, he was upset.

A discussion of Susie's will ensued. They had sharply differing opinions about who among her friends should receive bequests. In the end, his decision ruled. Afterward, the Buffett bathtub memory went to work. Anything negative that had transpired between them simply vanished, and Susie was restored as his ideal, because he needed her to be.

Warren had stood firm on the question of Susie's bequests to her friends. But she had gentled him enough on issues of money when it came to their children that he was not only comfortable giving them a million dollars every few years while he was alive, he was going to leave them a reasonable amount of money after his death.[5] It would not fund a zoo full of bears like William Randolph Hearst's, but they would be more than comfortable.

Howie had used his first million-dollar birthday gift to buy a nine-hundred-acre farm in Decatur, Illinois, where he still lived. Now he had two farms, one of which he owned outright. After the ADM lawsuits settled down, Don Keough suggested that he become a professional director by going on the board of another high-profile business, Coca-Cola Enterprises (CCE). Even though he had gained some business experience, Howie really preferred to sit on his combine working the fields. And while CCE was far more respectable than ADM, the CCE directorship nevertheless was a bit of a hop from the fire into the frying pan.

A giant cola bottler, CCE had been smashed together out of smaller bottlers that were Coca-Cola's customers. They bought the syrup concentrate that Coke made, mixed it with fizzy water, and sold it, acting as middlemen, so their relationship with Coke was critical. Neither could live without the other.

Don Keough, Buffett's old Omaha friend, was now president of Coca-Cola. His boss, the CEO of Coca-Cola, the aristocratic Cuban-born Roberto Goizueta, was revered in the business world for creating the world's best-known brand through slogans like "Coke Is It" and "I'd like to buy the world a Coke." Buffett felt that Coca-Cola had by now become a self-sustaining enterprise—and he admired Goizueta for having gotten it to this stage.

In 1997, Gates joined Buffett and Goizueta on a panel discussion at Sun Valley that was moderated by Keough.

"I used to talk to Bill all the time, and I'd always use this expression that a ham sandwich could run Coca-Cola. And Bill wasn't quite housebroken then. So we were sitting on this panel, up in front of the audience, and Bill said something to the effect that it's pretty easy to run Coke."

"I was trying to make a point about how Coke is such a wonderful business," says Gates, "and I said something about how I'm going to step down from Microsoft before I'm sixty because it's a tough business and a young person may need to be in there to handle turns in the road. But it came across that I thought of Microsoft as exciting and I must have said something like, 'Unlike Coca-Cola…'

"Goizueta thought I was an uppity, arrogant kid who was painting some kind of picture that I was engaged in some masterful act on a daily basis whereas anybody could leave at noon and go golfing if they ran Coca-Cola."[6]

"And Roberto hated Bill from that point forward."

Buffett avoided technology stocks partly because these fast-moving businesses could never be run by a ham sandwich. He thought it no shame to have a business that could be run by a ham sandwich; he wanted to get Berkshire Hathaway to the point that it could be run by a ham sandwich too—though not until after he was gone.

But by 1997, Coca-Cola had started to set goals for itself that were so ambitious that it took—not a ham

sandwich, not even Goizueta—but a lot of financial engineering to achieve them.

Coke owned forty percent of CCE and tended to act as though it owned a hundred percent. The creation of CCE by rolling up a group of bottlers had been part of a larger strategy of buying and selling bottlers in order to time the profits and boost Coca-Cola's earnings. This was neither illegal nor technically deceitful, but it was nonetheless an illusion, and Warren, who was on the board of Coke, was always aware of the potential for misrepresentation.

"Roberto did a lot of things operationally that were terrific, and I loved the guy. But Roberto got tangled up in promising numbers that eventually couldn't be delivered. He talked about high-teens growth, eighteen percent. Big companies are not going to increase their earnings in the high teens over long periods of time. For a while you can do it, but it just isn't in the cards to keep it up forever.

"I remember when he came in and talked to us about how he was going to add a third leg to earnings, which was profits made on buying and selling bottlers. He tried to sell the finance committee that this was the way of the future.

"The prices they paid for bottling companies were just nuts. I asked the chief financial officer all these questions. But Roberto started the board meetings at ten o'clock and finished at noon; the atmosphere was such that it didn't lend itself to questioning. You just had a feeling when it got to be noon that it would not be at all polite to keep raising subjects or talking about things that would cause the meeting to last until one o'clock. He was just not a guy you questioned. Some people have that bearing about them, and when the bearing is backed up by a very good record, the combination of the two is pretty overpowering." Buffett was more than simply nonconfrontational; he was of an age and from an era that viewed serving on boards as a quasisocial activity in which deference and politeness held sway. In 1998, that was the boardroom culture throughout America. This culture reflected the reality that the structure of corporate boards gave directors very little leeway with management.

"As a director, you can't remotely tell management what to do. All this stuff you read in the press about the board setting strategy is baloney. As a board member, you can do practically nothing. If a CEO thinks a director is smart and on his side, he'll listen to some degree, but ninety-eight percent of the time, he'll do what he wants to anyway. Listen, that's the way I run Berkshire. I think Roberto liked me, but he was not looking for a lot of ideas from me."

Buffett never knew of anything seriously enough awry at Coca-Cola to make him consider the drastic step of resigning from the board. Howie had a different problem: standing up to pressure from Coca-Cola.

"I was more independent than just about anybody else on that board, because I was on the Berkshire board, and no one at Coca-Cola could intimidate me," says Howie. "So I had no problem challenging Coca-Cola on behalf of CCE." But Howie eventually got off the CCE board. There was just too much potential for conflict between the two boards. In the sense that people learn more from heavy seas than smooth sailing, if Keough had meant to send Howie to another crash course in business school, the CCE role was a success. Howie's radar for danger signs in business had sharpened considerably. Even though he continued to serve on boards, the experience taught him that he wanted to fulfill his thirst for excitement outside the corporate world.

By the mid-1990s, Goizueta and his finance chief, Doug Ivester, were dosing Coke with even larger amounts of bottler profits to maintain the illusion of the company's rapid earnings flow. Then in 1997, Goizueta died unexpectedly, only a few months after announcing he had lung cancer. The board and the company and investors were shocked. He had been a statesmanlike CEO, credited with making Coca-Cola an international giant, his persona so titanic that it was hard to imagine who could fill his shoes. The board had deferred to Goizueta so absolutely that nobody ever seemed to have thought of any alternative to his handpicked successor, the burly, table-pounding Ivester.[7] The finance chief had a big reputation: He had engineered much of the company's recent success, carving up the financial interests of Coca-Cola and its bottlers to squeeze out every last advantage in Coca-Cola's favor. Goizueta was the aristocratic leader, Ivester the hands-on "doer." He loved technology, and hummed along with the Silicon Valley gestalt of the times.

Buffett liked Ivester and wanted him to succeed. A textile-factory mechanic's son who had risen through sheer determination, Ivester was an analytical numbers guy.[8] And, of course, under Goizueta he had enriched Buffett enormously. He had that underdog grit that Buffett liked. Moreover, Buffett laid responsibility for the accounting gimmickry at Goizueta's door, not Ivester's.

Juicing the earnings had certainly worked. Coca-Cola was trading at $70 per share. BRK itself was rocking with the market. Priced at $48,000 in June 1997, it flew to $67,000 over the next nine months. The higher the market went, the tougher it got for Buffett to invest, and yet the higher BRK rose. It made no sense, except that the stocks that Berkshire owned were rising with the market. As 1998 progressed, the Dow crossed 9,000 and was on its way to the magic 10,000. BRK blasted through $70,000 a share. At the shareholder meeting, Buffett told investors, "Our idea of tough times is periods like now."[9]

With too much cash, too few wonderful ideas, and without calling the Air-a-holic hotline, Buffett now bought a company for Berkshire called NetJets for $725 million.[10] He sold the *Indefensible* and became one of NetJets' customers. This company sold time-shares in jets of various makes and sizes; its planes all had tail numbers that started with QS, or Quebec Sierra. Susie had gotten Warren to buy her a quarter share in a "fractional" jet from NetJets in 1995, worth two hundred hours a year of flight time, which she referred to as *The Richly Deserved.*[11] She joked that QS stood for Queen Susie. Buffett took to NetJets so much that he had appeared in an ad and endorsed it even before he bought it. Still, on the surface, it was an atypical decision for a man who would, one year later, tell the moguls at Sun Valley that somebody should "have shot Orville down."

The reasoning behind the purchase seemed sound, though. NetJets was dominant in its market; it was too late for any serious competitor to catch up. Buffett figured that it was not unlike the newspaper business, where there were no red ribbons. Eventually, the competitors would fall away.[12] And, indeed, NetJets was outgrowing the competition. Buffett was intrigued with its CEO, Richard Santulli, an entrepreneurial mathematician who had formerly spent his days at Goldman Sachs figuring out trading patterns using chaos-theory mathematics. Now he used those same skills to schedule plane flights on six hours' notice for a database full of celebrity clients whom he entertained at private events. Buffett met a whole new set of famous people, including Arnold Schwarzenegger and Tiger Woods.

Investors cheered Buffett's purchase of NetJets but were shocked when he almost simultaneously announced that Berkshire was buying General Re, a huge insurance wholesaler, or "reinsurer," which bought excess risk from other insurers. At $22 billion, this deal was almost thirty times larger than NetJets. It dwarfed by multiples his largest deal ever, GEICO.[13]

When he met with the Gen Re management team, Buffett told them, "I'm strictly hands-off. You guys run your own business. I won't interfere." Then he suddenly started spouting numbers from GEICO. "Well, you know, their hit ratio has dropped a bit.[*32] Last week their numbers were…" Holy cow! thought Tad Montross, General Re's chief underwriter. This is hands-off? He knows more about GEICO than we know about General Re.[14]

Buffett did not know much about the inner workings of General Re. He had made the decision to buy based on studying the company's results, and he liked its reputation. General Re was sort of the Grace Kelly of the sometimes-shady insurance business. General Re wore white gloves and historically had acted more ladylike and respectable than the average company. Still…given the pattern of Buffett's purchases of insurers—in almost every case they plunged straight into the ditch shortly after he bought them—and given the size of this deal, the distant rumble of the tow truck's engine warming up could be heard, barely audible, over the next hill.

But it was the high price paid for General Re that attracted most of the attention, and the fact that Buffett had paid in stock, not cash—in effect, swapping twenty percent of Berkshire Hathaway for General Re in a deal announced on the day that Berkshire hit its then-all-time high of $80,900 per share. People wondered if Buffett's willingness to give away his stock when it was trading at such an unheard-of price meant that he,

too, thought BRK was overvalued.[15] Buffett had spent his career tightening his stranglehold on Berkshire. Giving stock to General Re's shareholders diluted his own personal voting interest in Berkshire from forty-three percent to less than thirty-eight percent. The last time he had paid stock for a major purchase, it was GEICO, and investors had believed then that Berkshire was overpriced. So they speculated about the message Buffett's new deal might be sending.

The price of BRK swung up and down based partly on the prices of the stocks that Berkshire owned. It was especially high at that moment because Berkshire owned 200 million shares of Coca-Cola, which now traded at an astronomical price. So, if Buffett was subtly signaling through his purchase of General Re that BRK was overvalued, did that mean that its underlying stocks—like Coca-Cola—were overpriced? If so, this could have implications for the entire market. It might mean the whole market was overpriced.

The king of the soft-drink world, Coca-Cola ruled with an aggressive swagger, a fizzy-dizzy arrogance. Buffett's stake in KO had multiplied fourteenfold over a decade, to $13 billion, and he had gone so far as to declare the company an "inevitable" to his shareholders, as if it were a stock he would never sell.[16] He reasoned that Coca-Cola would send more swallows down more throats in each passing decade "for an investing lifetime," which made it about as close to immortal, for a brand, as you could get. Berkshire now owned more than eight percent of the company. Coca-Cola stock was trading as high as forty times its estimated 2000 earnings—a multiple that said investors believed the stock would keep rising by at least twenty percent a year. But to do that, it would have to increase earnings twenty-five percent a year for five years—impossible. It would have to almost triple sales, to a number nearly as large as the entire soft-drink market in 1999—again impossible.[17] No amount of bottler sales or accounting finagles could produce results like that. Buffett knew it. Nevertheless, he did not sell his Coca-Cola stock.

The reason was partly inertia. Buffett liked to say he made most of his money by "sitting on his ass." Like the investors who kept their GEICO stock when it fell to $2 a share, inertia had protected him from many mistakes—both of commission and of omission. He also owned too much Coke to sell without creating a major headache. The symbolism of Warren Buffett—the "world's greatest investor" and a board member—dumping Coca-Cola stock would be unmistakable. The price of Coca-Cola could plunge as a result. Besides, with its effervescent mix of profit, product, nostalgia, show business, and likable people, Coca-Cola was Buffett's favorite stock. "The Real Thing" wasn't a slogan to him, it was an incredible cash machine that could grind out money forever, like the mill in the old fairy tale that endlessly ground out rivers of porridge, mountains of gold, or an ocean's-worth of salt.

Buffett carefully sidestepped these questions about the market and Coca-Cola when he used Berkshire stock to buy General Re, saying, "It is not a market call whatsoever."[18] BRK, he said, was "fairly valued" before the merger, and the combined companies would create "synergy." When Charlie Munger was asked, he stated that Buffett had consulted him about this deal very late in the game. In effect, he disowned the deal.[19] Not unexpectedly, investors began to reprice BRK as if either Berkshire and its holdings in stocks like Coca-Cola were overpriced or the deal's synergies would prove illusory.[20] Or both.

Buffett's explanation later that summer at Sun Valley was that *"we wanted to buy Gen Re, but coming with Gen Re was $22 billion dollars of investments."* Many were stocks; Buffett promptly sold them. Adding $22 billion of bonds *"changed the bond/stock ratio at Berkshire, which I was not unhappy with. It did have the effect of a portfolio allocation change."*

So Buffett—who sat on the Coca-Cola board with Herbert Allen—was "not unhappy with" swamping BRK's stocks, including Coca-Cola, in an ocean of General Re's bonds. This statement in context made all kinds of sense. In his previous shareholder letter, Buffett had written that stocks were "not overvalued"—*if* interest rates stayed below average, and *if* businesses kept delivering "extraordinary" returns on capital—in other words, if the unlikely continued to occur. This statement was oblique enough to avoid looking like a forecast. Buffett thought those who were always out prophesying some turn in the market's direction usually wound up being wrong ten times out of two. So he rarely made statements about the market, and often played coy when he did. Still, it was unusually clever of him to work the words "not overvalued" into a sentence that said that the market was overvalued. People could read this message any way they wanted, but if they were

smart, they got it.[21]

Likewise, Buffett was "not unhappy with" diluting his stock portfolio in the same Sun Valley speech, where he faced an audience filled with Internet CEOs at a time when Internet stocks were parthenogizing faster than naked mole rats. He accompanied his "not unhappy with" remark with the same warnings as in his letter: that interest rates must stay well below average and the economy stay unusually hot for the market to meet investors' expectations. This was also the same Sun Valley speech where Buffett had used his place at the pulpit to explain that investing is laying out money today to get money back tomorrow, like Aesop's bird in the hand versus the birds in the bush; that interest rates are the price of waiting for the birds in the bush; that for periods sometimes as long as seventeen years the market had gone exactly nowhere; and that at other times—such as the present—the value of stocks grows much faster than the economy. And, of course, he had closed this speech by comparing investors to a bunch of oil prospectors who were going to hell.

Thus, if Buffett was reshuffling his portfolio and focusing on bonds, perhaps it meant that he thought that it was now easier to make a living in bonds than stocks, and it was going to get easier still.[22]

The following October, he made another move that was just the opposite of what most people were doing—strikingly conservative by the standards of the market. He bought MidAmerican Energy Holding Company, an Iowa-based utility company with some international operations and a presence in alternative energy. He put in enough capital to buy just over seventy-five percent of MidAmerican for about $2 billion plus $7 billion of assumed debt, with the other twenty-five percent owned by his friend Walter Scott; MidAmerican's CEO, Scott's protégé David Sokol; and Sokol's number two, Greg Abel.

Investors were mystified. Why would Buffett want to buy a regulated electric company? Admittedly, the business was growing moderately, was well-managed, and had attractive embedded returns that were relatively certain and would be so for as long as could reasonably be imagined.

Buffett saw this as a second cornerstone for Berkshire alongside the insurance business. He felt that he was working with excellent managers who could potentially put a lot of money to work in utilities and energy at predictable rates of return, which compensated for the limited growth. However, Buffett was already being ridiculed for his refusal to buy technology stocks. Now he had bought the light company. How dull!

But this was not how he thought. When it came to investing, the kind of electricity he sought was not the thrill of trading, but rather, kilowatts.

Buying MidAmerican and General Re significantly diluted the impact of Coca-Cola on Berkshire's shareholders, but Berkshire still owned 200 million shares of Coke. Buffett never stopped thinking about Coca-Cola, where matters continued to go awry. By late 1999, the value of his KO stock was down to $9.5 billion, dragging down the price of BRK with it. A short-term wobble didn't worry him—it never did—but thanks in large part to Coca-Cola, one share of BRK stock could no longer buy a top-of-the-line luxury sports car. Buffett kept turning over and over in his mind an incident back in June. Reports had trickled in that Coke products were poisoning children in Belgium and France. It was not hard to figure out what to do. The late Goizueta would have let "Mr. Coca-Cola," Don Keough, handle it: Fly over right away, visit the kids, shower the parents with free soft drinks, make compassionately clever remarks to the press. Instead, Ivester—who was actually in France at the time—returned to the U.S. without comment, leaving the local bottlers to deal with the mess.

Herbert Allen, never one to sit patiently on the sidelines, called Ivester and asked, Why on earth don't you get over there and show your face? And Ivester said, I've sent a team over, plus, those kids aren't really sick. Allen exploded in frustration. Look, he said, these aren't kids who marched around and said, "I'm going to 'get Coca-Cola' by saying I'm sick." They think they're sick. Whether they're sick or not, what harm would it do to go over and sit down with their parents and give them a lifetime supply of Coke?[23]

But it seemed to him that Ivester didn't understand any of that. As he saw it, Coca-Cola was not at fault. And that was that.

For weeks, the local bottlers kept trying to reassure the public that Coca-Cola products were safe. But then it turned out that maybe they weren't. The company admitted it had found mold and chemical contaminants in the bottling plants. But it insisted these were aberrations, surely not serious enough to sicken children. Buffett was horrified. The arrogant response played right into Coca-Cola's vainglorious image. Ivester had already had difficulty dealing with the European Union. Coca-Cola's über-American style and the company's strategy of seeking exclusive marketing deals had earned it a reputation for extraordinary hubris. Over and over, European government officials slapped around Coca-Cola representatives in a Punch and Judy show. All over the world, headlines blared, and customers' trust in their beloved product dwindled.[24]

Weeks later, Ivester showed up in Europe and apologized in finely crafted legalese that never actually said, "We're sorry." The headlines died, and the Coke machines were plugged back in all over the continent. But the incident cost more than a hundred million dollars and impossible-to-measure damage to Coke's reputation. Buffett stewed.

Herbert Allen was stewing as well. Closer to the day-to-day management of the company, he questioned whether Coca-Cola was running off the rails. Despite the declining sales, at least 3,500 new employees had marched into Coca-Cola Plaza in Atlanta in the last two years. Allen looked at the burgeoning payroll and saw "a cancerous growth on the company."[25] The company's strategy of adding on the periphery, growing by acquisition, and hiring thousands of new staff was not working. Quarter after quarter, Ivester promised to improve growth rates; quarter after quarter, Coca-Cola fell short. One day in Ivester's office, Allen asked him, What are you going to do? And Ivester said he didn't know; had no solution.[26] "It had just overwhelmed him. Everything together had overwhelmed him. He did not know what to do," Allen says.

Floating above it all like the Goodyear blimp was Coca-Cola's millennially named Project Infinity. This "was one of those projects where everybody's computer would be linked up to the men's room so they'd know how much soap they were taking out of the dispensers," says Allen. Even the name, Project Infinity, seemed to refer to out-of-control spending in pursuit of ever-diminishing returns.[27] It drove Allen nuts. He wanted to know what Coca-Cola was getting for its billion dollars. How was Infinity going to solve the company's basic problems?

Buffett was displeased but resigned to being displeased. He had encountered this on some scale at almost every company where he sat on the board. Therefore, he sighed to himself, *"They all do it. The people who run information-technology departments always want the latest and greatest whiz-bang thing. No matter how smart you are, no matter how much you know, who can challenge them?*

"We probably aren't going to sell any more Coca-Cola because of some computer project, and we will add more people instead of cutting jobs. The vendors have it rigged to make us update the software and hardware every couple of years or the system will stop working. So it isn't even a onetime expense.

"Controlling technology spending is one of the toughest problems in management. And it's particularly hard at Coca-Cola because a successful company is like a rich family. When you're prosperous it's very hard to instill discipline." Buffett, of course, did not run his own company—or his own rich family—that way.

And there was more disturbing news, via Don Keough, who remained the bottlers' best friend at Coca-Cola. He was now retired from the company and had become chairman of Allen & Co.—but Goizueta had kept him on as an adviser to the board. Keough was almost as much a part of Coca-Cola as he ever had been. Through Keough, Buffett heard that Ivester had been dictating terms to the bottlers in an unheard-of way. This troubled him, because so much of the good results produced by Ivester had come from reengineering the relationship between the bottlers and Coca-Cola. Now Ivester was pushing that same lever so hard that the century-long partnership between the company and the bottlers had broken down.[28] Don Keough had become a sort of "father confessor to the disaffected" among the bottlers.[29] They were in open revolt. Meanwhile, Ivester had snatched away Keough's official role, a dumb move since Ivester needed Keough on his side. He might be King Arthur, but Keough was Coca-Cola's Merlin and must be paid due respect.

This squeezing of the bottlers reiterated the question of whether Ivester really knew what to do about Coca-Cola's slowing sales growth. The philosophy at Coca-Cola had always been that it was all about the relationship with the customer. Ivester favored a continuation of the accounting solutions to business problems, troweling more makeup on Coke when the CEO's main job—as Keough and Allen and Buffett perceived it—was to make the Coke brand more popular around the world.

Since Goizueta had been engineering the company's earnings before he died, and Ivester was the engineer and reaped the rewards for doing so, why should he behave any differently now that he was CEO? As one board member put it, "The finance committee was the center of everything," which was odd for a marketing company like Coca-Cola. In the end, the mistake was not Ivester's. The board had deferred to Goizueta even after his death, when it followed his wishes and made the head of the financial engineering department the new CEO of Coke.

Still, Buffett was pretty sure that the problem so obvious to him was not so obvious to the whole board. As he ticked off marks against Ivester, Buffett spent the whole fall in a wrung-out state of anxiety. By Thanksgiving, the paralyzing limitations of his role as a board member, given the travails of Coca-Cola, had almost reached a breaking point.[30]

Then *Fortune* magazine, which had labeled Ivester "the 21st-century CEO" not two years earlier, published a highly critical piece blaming him for the company's problems.[31] That was a bad sign. Fortune rarely smiled on CEOs whom *Fortune* smacked around this way, especially if the CEO had previously been featured in a flattering profile on the cover of the magazine. Being knocked off one's pedestal in public this way signaled that the powerful people whom *Fortune*'s reporters used as sources were displeased, and on the brink of tossing away the teddy bear they had once embraced.

Right after Thanksgiving, Herbert Allen put in a call to Buffett. "I think we have a problem with Ivester," he said. "We picked the wrong guy," Buffett agreed.[32] "That's about it," said Allen. They began to lay their plans.

They both estimated that it would take more than a year for the board to come around to their point of view that Ivester had to go—and that, says Allen, "would have been devastating to the company. So I think we decided, just as two individuals, to tell him the truth about how we felt."

Allen called Ivester and said he and Buffett wanted a meeting. They agreed to get together in Chicago, where Ivester would be stopping following a meeting with McDonald's.

On a cool, cloudy Wednesday, the first day of December 1999, Buffett and Allen flew into Chicago. Ivester's well-known obstreperousness kindled Buffett's dread of confrontation. He lashed down his anxiety, turtling into his shell. Later, it was reported that he appeared cold. The three men got down to business without preamble.[33] Impersonally, Buffett and Allen told Ivester that they appreciated his efforts on behalf of Coca-Cola, but he no longer had their confidence.

Still, Ivester was not actually fired. Buffett and Allen lacked the authority to fire Ivester. "He might have won a board vote, and he knew that," Buffett says.

Ivester took the news stoically. He rushed back to Atlanta to call an emergency telephone board meeting for four days later, leaving the mystified board to wait in suspense.

On Sunday, Ivester told the board members that he had concluded that he was not the right person to run the company. He would step down immediately. This was exactly as Buffett and Allen had hoped. But he also said there would be no transition; he was leaving as of that day. As the board listened in stunned silence, he described it as a voluntary decision, and that was true—in the sense that it is voluntary to avoid the firing squad by walking the plank.[34]

Board members began asking what had happened. Was he sick? Was something terribly wrong at Coca-Cola? Why didn't they have any warning? Must the transition be so sudden? Ivester never wavered from his script.[35]

A while back the board had insisted, against some resistance, that Ivester put a name in an envelope that said who should succeed him if he were hit by a truck. The envelope was now opened to reveal the name of Doug Daft, head of Coca-Cola's Middle and Far Eastern divisions. Daft was halfway out the door to retirement, but the board, among them Buffett and Allen, instantly made him Ivester's successor, with apparently no serious discussion of any alternative.

The recriminations began as the market took a hatchet to the stock.[36] Investors had figured out that Ivester was walking the plank. In private conversations with a few board members, he let on what had happened. The board now realized with varying degrees of outrage how much their role had been usurped.

With the media howling, it became clear that the company had better become more forthcoming. *Fortune* wrote an exclusive piece revealing details of the secret Chicago meeting.[37] Ivester had negotiated a staggering $115 million consolation package, which angered both his detractors and his supporters; it gave the impression that he was either paid off or wronged. And observers now realized that an inner circle ruled the Coke board.

"It was carried out badly, except that there wasn't anything better that we could have carried out. It was almost a disaster the way we did it, but if we hadn't, it would have been a disaster for sure. I don't think we could have gotten the board to vote to make a change like that—bingo! I think the only way to have made a change fast is the way we did it. And it took both of us to get it done; if either of us had done it individually, it wouldn't have happened."

But by year-end, Buffett's reputation was suffering in an even more overt way, because the biggest, most profitable feat of stock selection that he had ever made, Coca-Cola, was down by one-third after Ivester's departure. That Buffett had felt forced to intervene in a particularly graceless way, which had backfired in public on both the company and himself, left the impression not that he had ridden to the rescue—as with Salomon—but that what he and Herbert Allen had done was the meddling of a couple of old men.

That impression compounded the worries raised when the biggest acquisition he had ever made, General Re, coughed up a nasty surprise within days after Berkshire closed the purchase. Ron Ferguson, the CEO, had called to say that the company had been duped out of $275 million in an enormous, elaborately designed fraud called Unicover. Investors had been surprised, to say the least, when the first report Buffett gave them about General Re was an apology for this foolish thing, as well as an expression of confidence in Ferguson and the prediction that affairs would be righted. Since there had been concerns from the beginning about whether Buffett had bought General Re only to dilute his large positions in stocks like Coca-Cola, decades of blissful confidence in his judgment about buying businesses suddenly began to waver.

Even some of his most devoted believers were questioning his wisdom, as the stock market's repudiation of Buffett's Sun Valley manifesto grew even louder in the last few months of 1999. That December, he continued to look not just wrong about technology stocks but dead wrong and, at last, stubbornly blind to the obvious. The Dow closed the year up twenty-five percent. The NASDAQ blasted through 4,000 points, up an incredible eighty-six percent. The market valued Berkshire, with its burgeoning coffers of cash, at only $56,100 per share now, for a total market capitalization of $85 billion. That compared poorly to a little online media company called Yahoo!, which had quadrupled in the last year. Yahoo!, which captured the spirit of the times in its name, was now valued at $115 billion.

As 1999 spun to a close, there was no doubt who was important and influential at the turn of the millennium, and even less doubt who was not. *Time* magazine crowned Amazon.com's Jeff Bezos as its person of the year, comparing him in importance to Queen Elizabeth, Charles Lindbergh, and Martin Luther King Jr. Buffett's personal ranking had dropped on the annual taking-stock lists, which multiplied a thousandfold that year with the millennial summings-up and retrospectives. He had just fallen from being the second-richest to

the fourth-richest man in the world. Technophiles reveled in pointing out the great investor's feet of clay, saying that "if Buffett headed a mutual fund, he'd be looking at a second career."[38] *Barron's,* a weekly must-read on Wall Street, put him on its cover with the accompanying headline "Warren, What's Wrong?" and the comment that Berkshire stock had "stumbled" badly.[39] He might as well have had a bull's-eye painted on his brow.

In public, Buffett repeated constantly—in almost unvarying terms—the ideas that had made him famous: the margin of safety, the circle of competence, Mr. Market's vagaries. He still maintained that a stock is a piece of a business, not a bunch of numbers on a screen. All through the market's dizzy rise, he refrained from arguing or disputing any of the madness, except for making his now-famous speech at Sun Valley. People thought, from the way he disciplined every syllable that exited his mouth, that he was above the criticism. *"Never,"* he said, when asked if it bothered him when people called him a has-been. *"Nothing bothers me like that. You can't do well in investing unless you think independently. And the truth is, you are neither right nor wrong because people agree with you. You're right because your facts and reasoning are right. In the end, that's what counts."*[40]

But these were separate issues. While he had no problem thinking independently, he was indeed miserable over being called a has-been. Asked around then if being in the public eye for decades helped keep the criticism in perspective, Buffett paused for a long while. *"No. It never gets easier,"* he said soberly. *"It always hurts just as much as the first time."* But he could not do a thing about it.

Buffett had spent his whole career competing in a contest that was impossible to win. No matter how much money he made and no matter how long he kept it up, sooner or later he would have a bad year or the momentum would slow down. He knew that. Over and over he had warned investors that trees don't grow to the sky. But that had never stopped him from climbing as fast as he could. And he had loved the climb—but somewhat to his surprise, there was no blue ribbon waiting at the top.

His life was fascinating, his business accomplishments important, the principles through which he had succeeded worthy of study. So far as could be determined, everyone who knew him personally liked the man. His kaleidoscope personality perpetually revealed new facets, yet remained faithful at its core to his Inner Scorecard. The one thing that he would always be the best at was being himself.

* * *

As he did every year, Buffett spent the holidays with Susie and the family at their vacation home in Emerald Bay, the house garlanded with Christmas decorations from Susie's huge collection.[41] His work life may have been particularly challenging then, but Christmas of 1999 was a good one for his family. Warren was satisfied with the way his kids were maturing. Howie had settled down into life as a middle-aged farmer and successful businessman. Big Susie had gotten him interested in photography. Now he lived on an airplane half the time, photographing dangerous wild animals, his love of living on the edge channeled into getting bitten by a cheetah and chased by a polar bear.

A full-time mother of two children and unpaid part-time assistant to her father, Susie Jr. had followed in her mother's footsteps to become a major force in Omaha philanthropy, serving on the boards of the children's theater, the children's museum, and Girls Inc. Her ex-husband Allen ran the Buffett Foundation, and the two lived a few blocks apart and shared parenting.[42]

After his divorce, Peter had married Jennifer Heil and was still living in Milwaukee and writing music. In the early 1990s, he had gotten the opportunity to move to Hollywood and work in the entertainment industry. But "I realized if I moved to L.A.," he says, "I'd be one of thousands of me's out there trying to get work. My father was always into the movie *The Glenn Miller Story*. Glenn Miller searched and searched to find his sound; my father used to always talk about 'finding your sound.'" Peter stayed in Milwaukee rather than going to L.A., and felt that his father understood the resemblance to his choice to come back to Omaha to do

things his way rather than staying in New York. Soon after, Peter was hired to compose and produce the soundtrack for an important PBS documentary, the eight-part *500 Nations.* He had also written and produced a multimedia show as a benefit performance for Susie Jr. that became a PBS special, and toured with it for eleven weeks.[43]

Howie had been working on Big Susie, convincing her that the kids were mature enough, saying, "Give us a chance, the money is there, give us the chance to do something with it."[44] That Christmas, Susie Jr., Howie, and Peter were shocked to receive five hundred shares of Berkshire stock in foundations that each could manage and give to any causes they chose. The kids were elated; Susie Jr. called it "gigantic."[45]

The family settled in for New Year's Eve. You could follow the progress of the millennium's arrival on television, starting in the Kiribati Islands. From Sydney to Beijing to London, millions of people celebrated on streets and beaches as a chain of fireworks shot around the globe. The Eiffel Tower's millennium clock broke down. But as the hours ticked by, nothing disastrous happened anywhere, even at General Re and Coca-Cola. There was a mathematical neatness to the progression of time zones, locations, hours, that Buffett liked. After the stressful fall he had just spent, the change of millennium was not exciting to him—it was relaxing, and he needed that.

PART SIX

Claim Checks



53

The Genie

Omaha • 1998

Buffett was always wary of falling into what Munger called the Shoe Button Complex, pontificating on any and all subjects merely because he was an expert on business. But by the mid-1990s, both he and Munger were starting to receive—and answer—more and more questions about the business of life. He often treated the athletes and college students to whom he periodically spoke to the fable of the Genie.

"When I was sixteen, I had just two things on my mind—girls and cars," Buffett would say, taking a little poetic license here by leaving out the part about the money. *"I wasn't very good with girls. So I thought about cars. I thought about girls, too, but I had more luck with cars.*

"Let's say that when I turned sixteen, a genie had appeared to me. And that genie said, 'Warren, I'm going to give you the car of your choice. It'll be here tomorrow morning with a big bow tied on it. Brand-new. And it's all yours.'

"Having heard all the genie stories, I would say, 'What's the catch?' And the genie would answer, 'There's only one catch. This is the last car you're ever going to get in your life. So it's got to last a lifetime.'

"If that had happened, I would have picked out that car. But, can you imagine, knowing it had to last a lifetime, what I would do with it?

"I would read the manual about five times. I would always keep it garaged. If there was the least little dent or scratch, I'd have it fixed right away because I wouldn't want it rusting. I would baby that car, because it would have to last a lifetime.

"That's exactly the position you are in concerning your mind and body. You only get one mind and one body. And it's got to last a lifetime. Now, it's very easy to let them ride for many years. But if you don't take care of that mind and that body, they'll be a wreck forty years later, just like the car would be.

"It's what you do right now, today, that determines how your mind and body will operate ten, twenty, and thirty years from now."

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Semicolon

Omaha • January–August 2000

Buffett began the first week of the millennium in his office. In its first edition of the year, the *Sunday Times* of London said, "ignoring technology seems to have made a chimp out of Buffett."[1] One of the first pieces of correspondence was an e-mail from Ron Ferguson, CEO of General Re.

Buffett was already bracing himself. General Re had so far brought him nothing but deplorable news. A year ago, after the company had admitted being duped in the Unicover fraud mere weeks after Berkshire bought it, Ferguson had made a new confession. Movie producers and their lenders had talked General Re into guaranteeing ticket sales on Hollywood films. The company said it would pay if the box office fell short, without knowing what scripts would be filmed or who would star in them. Buffett had been incredulous when he found out. Within weeks, lawsuits began to unreel from the film-finance fiasco faster than the failed films' credits unfurled. It could have gone without saying that his *favorite* manager, the brilliant Ajit Jain, would never have guaranteed any dumb movie deals. Although it did get said.

Then Ferguson belabored him into a nitpicking match over how to underwrite an Internet lottery called Grab.com that Ajit was reinsuring. Buffett now realized that Ferguson had a sharply different philosophy from his. Buffett always liked to talk about how he would rather step over one-foot bars than look for seven-foot bars to hurdle. The Grab.com lottery deal offered an easy profit—a one-foot bar to step over.[2] Ferguson didn't want to do it because it was such a layup. General Re, he said, only did deals where it had an underwriting edge.

Buffett roundhoused the match to an end, then decided that he needed a change in management. Yet he did not act, for nothing required him to do so. General Re had a wonderful track record. The business needed mending, not a purge. Firing Ferguson so soon after he bought the company would mean a brouhaha, a public hullabaloo. He hated firing people.

Two months after the Grab.com deal, come the millennium, Ferguson was confessing that General Re had lost another $273 million from bad insurance pricing. It struck Buffett that he could no longer hope these were isolated mistakes, but an infestation; General Re seemed cursed since the day he'd announced he had bought the damn thing. In its first twelve months as part of Berkshire, General Re—formerly a paragon of discipline—had run straight into the ditch and had lost nearly $1.5 billion dollars from underwriting, the pricing and selection of risk. No company that Buffett had ever owned had lost money approaching a fraction of this magnitude. Buffett said little but recognized that he would have to do something soon.

When the news was published, investors rapidly readjusted their thinking once again. Had paying $22 billion for General Re been a mistake? Buffett's reputation took another hit.

Meanwhile, at Coca-Cola, despite the change in management, all was not well.[3] Its new CEO, Doug Daft, had laid off six thousand people in January as his opening act. Investors reacted with shock. Only a minority on Wall Street had been pointing out the sediment rising in Coke's river of profits and investors were not yet convinced they were right. So Coca-Cola got socked, and along with it, BRK, already cheap at $56,100 on January 1, started to plummet.

Two weeks later, on February 9, in the early-morning sanctuary of his office, Buffett sat with half an eye fixed on CNBC, sorting through his reading. The hotline on the credenza behind his desk rang. Only Buffett answered this phone. He picked it up instantly. Jim Maguire, who traded BRK on the floor of the New York Stock Exchange, was on the other end. It was a short conversation.

"Yep…Uh-huh. Mmm-hmm…Okay. Mmm-hmm…Not now. Okay. Mmm-hmm…Mmmmmm-hmmmmmmm…Okay. Thanks." *Click*.

Maguire was calling to tell him that sell orders were pouring in for BRK. While Buffett had been playing bridge online the previous evening, an Internet bulletin-board writer on Yahoo! who went by "zx1675" had posted, "Warren in Hospital—Critical." Over the next few hours, the rumor spread virally from posters like "hyperpumperfulofcrap," who said over and over "BUFFETT OLD AND WEAK, SELL," and "SELL, SELL, SELL, SELL, SELL." With the rumors filtering through Wall Street and convincing people that Buffett was in the hospital in critical condition, BRK was trading heavily and getting hammered.[4]

Buffett's personal phone line started ringing. It had been an unusually busy morning for calls. He answered it himself, as usual, lighting up with a big grinning "Oh, hiiiiii!" to show he was happy to hear from the caller.

"How are you?" the caller inquired, with a slight tone of urgency.

"Well…never better!"

If a tornado were barreling straight toward Kiewit Plaza, Buffett would say that things were "never better" before mentioning the twister. People knew to read his tone of voice; today it sounded stressed. All morning, callers had wanted to know—how was he, *really*?

I'm fine, Buffett explained, everything is fine. Really. But from the way BRK was trading, people were listening to hyperpumperfulofcrap. This was the power of new media. As BRK continued sliding on rumors of Buffett's impending demise, shareholders were ringing their brokers, demanding to know whether Buffett was alive. People who knew people who knew Buffett grilled them: "Are you certain? Have you seen him? *How can you know for sure?*"

CNBC broadcast the rumors about Buffett's possible demise, flambéing the story with word of his

reassurances. Skepticism grew. If he was saying he was fine, he must not be. A second rumor began to circulate that he was taking advantage of the situation to buy Berkshire's own stock cheap. That hit him on the tender spot where his reputation for personal integrity collided with his reputation for ruthless rapacity.

For two days the siege continued while BRK traded down more than five percent. By presuming his indispensability, the rumor paid Buffett a sort of inverted compliment. But he was outraged that anyone would think he would cheat his own shareholders by buying back stock at their expense under false pretenses. And he hated being blackmailed by some jerk who manipulated the stock price through the Internet. He couldn't stand being a dog on anyone's leash. He was appalled at the thought that responding to manipulation would reward and encourage more rumors—and thereby set a precedent.

Eventually, he reasoned, the rumors would die under their own demonstrated falsity. But "eventually" could take a long time. A new reality had dawned: In the age of the Internet time was compressed, and he had less and less control over public perception of him. Finally, he capitulated and issued an extraordinary press release.

Recently certain rumors have surfaced on the Internet regarding share repurchases and Mr. Buffett's health. While it has been a long-standing Berkshire policy to not comment on rumors, we are making an exception with respect to these recent rumors. All rumors regarding share repurchases and Mr. Buffett's health are "100 percent false."[5]

The announcement was useless. BRK plunged eleven percent that week and didn't recover.

On March 9, *Newsday* hit the stands quoting Harry Newton, publisher of *Technology Investor Magazine*: "I'll tell you what Warren Buffett should say when he releases his statement to shareholders: 'I'm sorry!' that's what." The next day, BRK hit a low of $41,300 per share, trading at scarcely more than the value at which its pieces were carried on its books. The legendary "Buffett premium"—the high price the stock supposedly traded at just because of Buffett—was gone. The day before, the NASDAQ index had bounded up the Andes to reach 5,000. Since January 1999 it had doubled, its component stocks increasing more than $3 trillion in value.

The contrast was too sharp to leave alone. A money manager wrote that investors like Buffett were "fallen angels, disgraced with poor rankings…made obsolete in 1999 by mavericks who say the old laws of investing have been repealed and backed up their theories with eye-popping numbers."[6]

Buffett was miserable about the bad publicity, though he never considered changing his investment strategy. Owners of BRK apparently would have been better off investing in an index of the market over the past five years—the most prolonged drought in Berkshire's history. His Coke investment, once valued at a frothy $17.5 billion, would now fetch only $8.75 billion. His determination not to give up his margin of safety meant that Berkshire had piled up billions in unused capital, which was loafing in low-yielding bonds. Buffett understood the basics of computers perfectly well. But he would not consider buying a technology stock at *any* price. *"When it comes to Microsoft and Intel,"* he said, *"I don't know what that world will look like ten years from now. And I don't want to play in a game where the other guy has an advantage…. The software business is not within my circle of competence…. We understand Dilly Bars and not software."*[7]

In February 2000, the SEC had denied Berkshire Hathaway's request to keep some of its stockholdings confidential. It weighed the various interests of investors in a stable market versus the right to know, and ruled in favor of the right to know. Instead of accumulating a huge block of stock like American Express or Coca-Cola, he would only have time to tweezer up stocks in little bits before people could ride his coattails. Although he would continue to fight back, the SEC had turned him into Ben Graham, who opened up his books for the whole world to see. From now on, acquiring entire businesses—which had always been his favorite way to use capital, anyway—would be the main use of money at Berkshire. It was going to become much harder to put large amounts of money to work in stocks. That stung at a time when the media referred to Buffett as "*formerly* the world's greatest investor."[8]

On March 10, the day after Harry Newton said that Buffett should apologize, the *Wall Street Journal* wrote that almost everyone was making money in tech except the stubborn, curmudgeonly Buffett, whose stock was down forty-eight percent from its high.[9] The *Journal* compared his performance to a retired AT&T employee whose portfolio was up thirty-five percent, saying that this technology-stock dabbler "isn't exactly Warren Buffett—thank goodness."[10]

Never in Buffett's career had resolution and clear thinking been put to the kind of test that he had endured for the past three years. Every indication in the market said that he was wrong. Because of his determined clinging to a set of moldy ideas, the public, the media, and even some of his own shareholders thought he was corked. He had only his inner conviction to steer him straight. And this was the needy man who over the years had grown habituated to a stream of accolades as steady as his daily dose of Cherry Coke; who was so sensitive to public criticism that he ran from anything that would expose him to it; who had sculpted his life around managing his reputation; and who fought like a tiger against anything that could sully it.

Yet, even under siege to his reputation, this time, Buffett never fought back. He neither wrote editorials, nor testified before Congress about the dangers of the market, nor dueled in the press, nor gave television interviews to defend himself, nor arranged that his proxies do so on his behalf. He and Munger carried on their regular dialogue with Berkshire's shareholders, saying that while the market was overvalued, they could not predict how long it would last. Finally, not for the record but as a warning and a way of teaching, Buffett explained his views once and for all and predicted that the market would fall far short of investors' hopes for two decades in a tour de force of a speech to the elite at Sun Valley that he shortly afterward turned into a *Fortune* article for Joe and Jane Investor on the street.

It had taken one great surge of courage to burst past his fears and beg for help from Nick Brady to save Salomon. But to show such restraint, then commit himself to such a forecast in the face of years of criticism and ridicule, took a different kind of courage, making the Internet bubble one of the greatest personal challenges of his career.

On March 11, twenty-four hours after the *Wall Street Journal* said thank goodness the retired AT&T employee was a better investor than Warren Buffett, Berkshire Hathaway issued its annual report, and Buffett graded himself a "D" for failing to invest Berkshire's capital. He did not say, however, that he considered avoiding technology stocks to have been a mistake. He simply reframed investors' expectations, writing that, because of its enormous size, Berkshire was now likely to grow in value only "modestly" better than the market. This, he knew, would set off debates about what "modestly" meant. But he felt it had to be said.

Separately, Buffett announced that BRK was so cheap that Berkshire would now entertain offers from investors to buy its *own* stock. To do so—to give money back to shareholders to whom he hadn't paid a dividend in decades; to even contemplate it—was as if Buffett, a glutton for capital all his life, had suddenly turned ascetic.

And for the second time, Buffett was publicly announcing what he wanted to buy in advance. Not since the Great Unwinding of the partnership in 1970 had he said, "I will buy Berkshire Hathaway." Once again, investors had to ask themselves which side to play. This time, many people understood the message. His willingness to put up money for Berkshire stock made such a statement that, before he could buy a single share, BRK rose twenty-four percent.

The following week, the NASDAQ, full of technology stocks, sent up a warning plume of ash.[11] By late April, it had cratered thirty-one percent, among the largest losses in historic terms.

By Easter, Buffett did not care; he was doubled over in pain. He could not believe it. Right before his all-important shareholder meeting, the critical performance of his year, the rumors about his health had come true. Susie Jr. rushed him to the hospital at three o'clock in the morning, where he spent the next several days trying to pass a kidney stone. The nurses kept wandering in and out, addressing him as Bill. Although he was in such agony that he never asked, he wondered what the hell was going on. He phoned Big Susie repeatedly

in panic. She was away in Grand Lake, Colorado, with her group of "hen" friends from high school; there was nothing she could do.[12] Finally, he felt somewhat better, so his doctor sent him home. When his daughter picked him up, she explained that the nurses had been calling him "Bill" because he'd been registered under Doc Thompson's name.

Almost immediately, however, Buffett had to rush back to the hospital, still trying to pass the damn kidney stone. Once again he sat up all night drinking tumblers of water until, finally, the water torture worked. But from then on he had to worry about a part of his anatomy that had not previously concerned him, because kidney stones recur. *"The plumbing thing—I hate it. Basically that's what goes wrong as you get older,"* he said.

He took inventory of his problems. The stock was in such disrepute that only his offer to buy it himself had saved it. General Re, his largest deal, seemed cursed. Coca-Cola was nagging at his thoughts. How could so much damage have happened so quickly in a business with such a bulletproof brand? Could it really all be poor old Ivester's fault? And now a problem with his health had reared up to stare him in the face.

The fact of mortality dwelled beneath the surface of Buffett's bathtub memory, periodically sliding its way back up into the tub.[13] He had still never come to terms with his father's death. He had never decided on a suitable memorial to Howard. He had moved the large portrait of Howard so that it hung on the wall behind his desk, floating above his own head. Howard's papers sat in the basement of his house, untouched. Warren could not bring himself to go through them. He teared up if he even thought about it, obviously terrified to let the emotions that had been held back all these thirty-five years erupt.

He'd warned that trees don't grow to the sky; someday everything must end. Yet he himself couldn't face the day he would have to draw the line under his career and say: "This is it. I'm done. The Sistine Chapel is finished. No further brushstroke will improve it—any further effort will produce an ordinary result."

He was sixty-nine years old. He couldn't believe that he was sixty-nine years old; he still felt like a young man. He comforted himself with the knowledge that decades remained until he reached the age at which his mother had died. General Re would be fixed, and Coca-Cola, as he knew, could be run by a ham sandwich. The kidney stone…Whoosh! The bathtub memory went to work. He returned to preparing for his shareholder meeting, which had become the happiest week of his year.

For several days at the end of April, the town grew more crowded, the airport grew busier than usual, a rivulet, then a stream of people arrived in the hotel lobbies to check in, and tables in the outdoor cafes of restaurants downtown started to fill. The rental car companies ran out of cars. The bar at the Marriott Regency—at the time a sort of unofficial headquarters for meeting "insiders"—was packed. People wearing Berkshire Hathaway meeting credentials strolled through Omaha as if identifying themselves as members of a club. In Buffett's office, the phone rang with urgent last-minute requests for press credentials, meeting passes, and requests from guests to bring their own guests to the most exclusive event of the year in Omaha—Buffett's private Sunday brunch. With outward patience but increasing irritation at the more brazen requests, Buffett's secretary, Debbie Bosanek, unsnarled the bottleneck and told people no.

On Friday night, Buffett made the rounds from public events to private parties. Some of his disciples, dressed in gigantic yellow foam cowboy-style hats like members of a cult, mingled with longtime shareholders and big-time money managers at the Borsheim's cocktail party, where much of Omaha joined the out-of-town shareholders to scarf down free drinks and food. Susan Jacques of Borsheim's staged this event, which Buffett supported because it increased turnover, despite his suspicions that a lot of freeloaders showed up.

Over at the Civic Auditorium, the shareholder meeting itself—which had multiplied to include thousands of staff, vendors, and volunteer employees; acres of exhibits, flowers, and displays; truckloads of turkey sandwiches, hot dogs, and Coke; signage, exhibits, security, media, sound, video, lighting, and private parties for the vendors and helpers—was designed, choreographed, and overseen by just one employee, Kelly Muchemore, whom Buffett called the "Flo Ziegfeld" of Berkshire Hathaway. Kelly did not even have a secretary. Technically, she *was* a secretary. It would take four people to replace Kelly, Buffett pointed out with pride. One side effect of this kind of praise was that it sometimes caused people to wonder whether they

were getting paid a quarter of what they were worth.[14] Buffett, however, was skilled at paying people with more praise than cash. Those who sat closest to the sun, Muchemore, Bosanek, and the receptionist, Deb Ray, were the most Carnegized of all Buffett's employees; every shareholder had heard all about how wonderful they were. The Carnegizing seemed to work like a sort of sunscreen helping protect them from Rickershauser's Law of Thermodynamics. Thus, they threw themselves into the fray, while keeping their boss sheltered in his private cocoon down at the end of the hallway, separate from everybody else. In the weeks leading up to the meeting, they all pulled double duty. On meeting day, Deb and Debbie handled the most important VIPs and the press room, while Muchemore ran around with a walkie-talkie, field-marshaling.

By four o'clock in the morning on Saturday, several hundred restless people wearing laminated meeting credentials on lanyards around their necks lined up outside the Civic Auditorium, waiting for the doors to open. Three hours later, people stampeded past the guards who checked their credentials to claim the prime seats on the floor. After hanging their jackets and sweaters over the backs of their chairs to save seats, they made their way to the concession stands for the free breakfast of sugary sweet rolls, juice, and coffee. By eight o'clock it became clear that they needn't have bothered to show up before dawn. Half the seats in the house were empty. Thirty minutes later, the auditorium held nine thousand people.[15] While most CEOs would be thrilled (or horrified) at such a turnout, it didn't compare to the fifteen thousand who had come the year before. Attendance was down by forty percent.

On schedule, the auditorium darkened and the film rolled for the premeeting movie, which had been growing longer with each year. It opened with a cartoon featuring Warren as a superhero, with Charlie in a supporting role, shilling for Berkshire products. Next, Judge Judy adjudicated a mock dispute over a two-dollar bet between Buffett and Bill Gates. Comedy videos and commercials for Berkshire products followed; finally Susie Buffett sang a Berkshire-ized version of the Coca-Cola theme song, "What the world wants today…is Berkshire Hathaway."

Around nine-thirty Buffett and Munger walked onto the stage in suits and ties and looked out over the shrunken crowd of the faithful, clad in everything from business garb to shorts. Yellow foam hats bobbed here and there in the audience. After a five-minute business meeting, the question-and-answer session opened as usual, with shareholders lined up at microphones positioned around the auditorium, lobbing questions on how to value stocks. Somebody asked about technology stocks. "I don't want to speculate about high-tech," Buffett said. "Anytime there have been real bursts of speculation, it eventually gets corrected." He compared the market to the phony riches of chain letters and Ponzi schemes. "Investors may feel richer, but they're not." Pause. "Charlie?"

Munger opened his mouth. The audience perked up slightly. Munger often said, "Nothing to add." But whenever Buffett handed the microphone to him, the auditorium hummed with the subtlest sensation of danger. It was like watching an experienced lion tamer working with a chair and a whip.

"The reason we use the phrase 'wretched excess,'" Munger said, "is because it produces wretched consequences. It's irrational. If you mix raisins with turds, they're still turds."

The crowd gasped. Did he say turds? Did Charlie just compare Internet stocks to turds in front of children who had come with their parents, not to mention in front of the press? He said turds! It took some time for the meeting to settle back into its normal rhythm.

Somebody asked "the silver question." Around then, people started heading down into the basement to shop for shoes and Ginsu knives and See's Candies. An annual question about Buffett's silver position had become a tedious ritual. In 1997, he had announced he'd bought almost a third of the world's silver supply. Instead of bringing up recollections of Blue Eagle stamps, this announcement had sent metals enthusiasts into a frenzy over the Oracle's sudden liking for their niche.[16] More attention was paid to this single transaction than any in Berkshire's history. Buffett was not a metals bug; he followed metals as a business, based on their supply and demand, not to speculate on them or use them as a hedge against inflation. He thought stocks of companies that could raise prices were the better hedge, even though inflation eroded their gains. He had bought the silver as a good investment, but what he really wanted was to go and *visit* the silver. He pictured

himself in the secret London vault, smiling as he counted the gleaming bars.[17] The silver question sent Buffett's and Munger's eyes rolling heavenward a fraction of an inch, although Buffett responded politely that owning the silver had been a dull ride. He refrained from mentioning that a visit to the silver would have livened up the ride considerably.

The questions droned on as Buffett and Munger listened, unwrapping Dilly Bars with much rustling. Shareholders began to voice complaints. They didn't like the stock price.[18] One said she was going to look into correspondence schools, since her Berkshire stock would no longer pay for college.[19] Gaylord Hanson of Santa Barbara, California, stood at the microphone to harangue that he had bought BRK near its highs in 1998 because of Buffett's track record and had come out okay only because the money he'd lost had been made up by four technology stocks.[20] He urged Buffett to invest at least ten percent of Berkshire's assets in technology, "the only game in town. Isn't there enough left in your brain power to maybe pick a few?"

The questions kept veering along these lines. What about famous money managers like Stanley Druckenmiller, who had given in and bought technology at Soros? Given Berkshire's disappointing performance, couldn't Buffett find something new to do? If not technology, couldn't he make some international investments?

It was worse than humiliating. Looking out into the audience, Buffett saw that, for the first time, some of them assumed that he was letting them down: the effort of nearly fifty years rolled backward, undone, his own shareholders turned against him. His age suddenly signified not experience but obsolescence. In the press, people now referred to him as an old man. It seemed that the world today did not want Berkshire Hathaway.

Afterward, Buffett guzzled Cherry Coke while signing autographs, then donned a baseball uniform to throw out the first pitch at the Omaha Royals game. He made another round of parties with Astrid, still wearing his baseball uniform, Dilly Bars dripping in his wake. He held court at Gorat's with the family on Sunday night, then oversaw the board meeting—another teaching exercise—on Monday morning. Afterward, he, Susie, and the kids and their families flew to New York. By the time he was catching up with friends, eating out and seeing shows with the family, and dutifully checking off his list the unloved annual chore of buying suits at Bergdorf's, the bathtub memory had done its work. While in New York, he also taught a session of the modern version of the Ben Graham course at Columbia and met with half a dozen journalists attending Columbia's business-journalism program.[21]

Saturday morning he summoned three members of General Re's management to his suite at the Plaza Hotel. Ron Ferguson brought a series of PowerPoint handouts and began to pace through General Re's string of terrible results. Buffett listened for a few minutes, frowning and fidgeting. Finally he said, Why don't we just jump to the end. Results had to improve. The lines of authority must be reinforced. Clients were dictating terms to General Re, not the other way around. This must end. Somebody had to be accountable.[22]

He stopped short of telling Ferguson to retire, betrayed by his weakness for older managers. He sympathized with Ferguson, who'd suffered a subarachnoid hemorrhage in late 1999. Ferguson, who had seemed just slightly off-kilter for some time afterward, had offered to step down then. Buffett had told him no. He didn't believe in putting people out to pasture; some of his best managers had been elderly, including Mrs. B, who had worked until age 103 and died a year later. He missed her caustic little soul, but felt great relief that she had not outwitted the terms of her noncompete. His own goal was to outlive Mrs. B, not by just a few years but by five years beyond forever, as he had once feared that she would outlast him. He bragged all the time about Berkshire's geriatric crew, and his board of directors was beginning to resemble the elderly U.S. Supreme Court.

Imagine, therefore, if Buffett's genie had been watching over his shoulder a few weeks later, as he played bridge after dinner at Bill and Melinda Gates's house. He was answering questions in the raspy voice that meant he hadn't been sleeping, repeating that he was "just fine," but clearly not enjoying himself. Sharon Osberg, who knew how to read the signs that meant Buffett was in real distress, conferred with the Gateses,

who immediately summoned a doctor, over Buffett's protests.[23]

The doctor was surprised that Buffett had never had a colonoscopy. He gave him a painkiller to get him home in comfort. But, he said, you really should go in and have a complete examination and a colonoscopy when you get back to Omaha.

The genie would have been less tactful. Howard Buffett had had colon cancer and died of complications from it. What was Buffett *thinking,* at age sixty-nine, never having had a colonoscopy? *This* was certainly not treating your body like the only car you'd ever own.

A month later, BRK had recovered by nearly $5,000 a share to $60,000. *Fortune* magazine noticed that even though he "lost his heavenly touch" in 1999, Berkshire's recent forty-seven percent recovery from its March low made him a "good revivalist."[24] He would need some reviving in other ways, however.

Buffett had scheduled the dread procedure at last.[25] So much medical attention at once—only a month after the kidney stone. But a colonoscopy could be considered "routine." He distracted himself by talking on the phone and playing bridge. He played helicopter on the computer. When people asked him about the upcoming procedure, he said, "I'm not the least bit worried."

But he woke up from the colonoscopy to a nasty shock. A sizable benign polyp was nesting in his gut. The polyp had taken over so much real estate that removing it would require demolishing a good chunk of the surrounding neighborhood. It had a few small friends nearby as well. This was not something to trifle with. Buffett decided to have surgery in late July, after Sun Valley. "Oh, I'm not worried at all," he said, making jokes and stressing the good results from his cardiology tests. "I never worry about my health. Unless you'd brought it up, I never would have even thought about it."

But Buffett now seemed cornered into issuing press releases about his health, this one blaring in embarrassing detail:

Warren E. Buffett, Chairman of Berkshire Hathaway Inc. (NYSE: BRK.A, BRK.B), expects to enter an Omaha hospital in the next month to undergo surgery to remove several benign polyps in his colon. The polyps were discovered on Monday when Mr. Buffett underwent a routine physical examination, which otherwise found him to be in excellent health. The surgery is expected to keep Mr. Buffett in the hospital for several days, after which he expects to return quickly to work. Berkshire Hathaway is releasing these facts to forestall the kind of false rumors about Mr. Buffett's health that disrupted the market for its stock earlier this year.[26]

The surgery took several hours, during which fifteen inches of Buffett's innards were removed, and left him marked with a seven-inch scar. He spent a week recovering at home. He also grew a beard for the first time in his life. Deprived of Berkshire Hathaway, he talked a lot on the phone. He sounded weak.

"Oh, no, I'm not tired at all, I'm perfectly fine," he said. *"I've lost a few pounds I needed to lose. Astrid's taking good care of me. The doctor says I can eat anything I want. By the way, did I tell you that I went into the hospital with a colon, but I came out with a semicolon?"* Asked if he was concerned about a recurrence: *"Oh, no, I'm not worried at all about that. I never worry about anything, you know. Incidentally, did I tell you that the anesthesiologist used to be my caddy at the country club? I told him before he put me under that I sure hope I tipped him well."*

Berkshire Hathaway's press release simply noted that the polyp was confirmed benign and no further treatment was required. Despite the announcement, rumors raced over the Internet and around Wall Street again. Some insisted that Buffett must have had cancer; polyps did not require surgery. But Warren was not sick and certainly did not feel old. He still felt like the "Firebolt."

Yet after tolerating cavalier treatment all his life, his health was beginning to set limits. Someday, his wrestling match with infinity would end; the questions he was avoiding must be faced. Since Berkshire and

Buffett were interchangeable in his mind, everything in his nature rebelled against this task. Many of the questions hinged on Big Susie, who was going to outlive him. He told people that she would take care of everything.

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The Last Kay Party

Omaha • September 2000–July 2001

By the time Buffett got his semicolon, the Internet boom had boomeranged. The dotcoms were dying at the pace of one a day: Arzoo.com, Boo.com, Dash.com, eToys.com, Flooz.com, FooDoo.com, Hookt.com, Lipstream.com, PaperFly.com, Pets.com, Wwwwrrrr.com, Xuma.com, Zing.com.[1] The NASDAQ was trading at less than half the value of its peak; the old economy stocks were still swooning. The Federal Reserve had started to cut interest rates once again. Buffett's reputation, however, began to revive.

Berkshire dipped its soup ladle into a huge stockpot of capital for Buffett to buy private companies, bankrupt companies, under-the-radar companies as the window to invest began to open again. He bought U.S. Liability, an insurer of unusual risks; Ben Bridge, another jeweler;[2] and Justin Industries, parent of Acme Brick and Tony Lama and Nocona Boots;[3] Shaw, the world's largest carpet maker;[4] and Benjamin Moore Paint.[5] He bought Johns Manville, a home-building-products maker,[6] and Mitek, a high-tech steel component fabricator.[7] Even so, by the end of 2000 Berkshire still had billions of unused capital: a baled-in-the-basement, batched-to-the-rafters, wadded-to-the-walls, stashed-up-the-chimney, thatched-to-the-rooftop mass of money that continued to pour out from the self-perpetuating cash-spinning machine.[8]

Buffett's foreboding prediction about the market in his 1999 Sun Valley speech had proven right so far. Now he sermonized in his letter—which had become a global media event, released on the Internet and awaited by so many thousands of people that the Berkshire Web site nearly crashed on the appointed Saturday morning—that the birth of the Internet was a chance for cynical financiers to "monetize the hopes" of the credulous. He alluded again to the Aesop's fable he had invoked in his Sun Valley speech: Investing in the Internet is laying out the bird in the hand—money today—to get birds in the bush. The resulting "wealth transfer on a massive scale" was going to benefit only the very few.

"By shamelessly merchandising birdless bushes, promoters have in recent years moved billions of dollars from the pockets of the public to their own purses (and to those of their friends and associates)…. Speculation is most dangerous when it looks easiest."[9] The audience listened, and at the 2001 shareholder meeting, the crowds started coming back.

A small part of Berkshire's good fortune came from a turnaround at Gillette, where Buffett had been instrumental in replacing its CEO, Mike Hawley, with Jim Kilts.[10] Shortly before that, near the end of 2000, he had thrown off his torpor as a Coca-Cola board member once again when Doug Daft, the new CEO, tried to make a deal to buy Quaker Oats. Buffett was one of several board members whose lack of support spiked the deal. But it remained to be seen whether the changes at Coca-Cola would make a difference. Certainly replacing one ham sandwich with another had not helped the stock.

Buffett's return to Sun Valley in 2001 was another opportunity to table-thump. But as the Gulfstream jets glided their way down the mountain wave to Hailey, the corporate chiefs heading to the Sun Valley Lodge had deals on their mind and rumors were flying. Most of the rumors concerned AT&T fighting off an unfriendly offer for its cable assets from Comcast.

For the first time, an archipelago of television news tents filled the lawn in front of the Sun Valley Inn. Equipped as though for a movie shoot with distracting lights, silver reflecting sheets, producers, cameramen, assistants, makeup people, and reporters, all waiting to wrestle CEOs into giving interviews, they fueled the rumor mill. TV cameras hovered around the Duck Pond; reporters pounced on the willing and unwilling after their speeches. They chased after people from companies that were supposedly involved in the deals.

On Friday afternoon, after playing bridge, Katharine Graham, who was now left in relative peace at age eighty-four, rode back to her condo in the little golf cart she used to get around in Sun Valley. Tall and still on the slender side, she had had both hips replaced, and one worked better than the other. People noticed that she seemed worn out and "fading," but she had been saying what a marvelous time she was having this year. The company that she and her son Don had created, with much help from Buffett's advice, was now regarded almost as iconic for its financial and journalistic success at a time when newspaper profits were slipping badly. Graham took obvious pleasure in the way the Allen conference brought together so many of the people she enjoyed. She had been assigned an assistant to escort her everywhere, but she had the grit to resist handling, so for much of the conference she was seen on the arm of either Don or Barry Diller, chairman of USA Networks and a close friend. At the moment, however, she was alone.

Susie Buffett Jr. and her mother, in their car, spotted Graham and drove into the employee parking lot where Graham could not see them, so that they could watch her climb the four steps to her condominium. She was taking the anticoagulant Coumadin, which greatly increased the risk of serious hemorrhage should she fall. She clung to the handrail and looked shaky but made it inside without incident.[11]

Later, outside on the deck of the Wildflower condos, overlooking the golf course and mountains, where Graham often sat reading the *Washington Post* in the afternoons, fashion designer Diane von Furstenberg threw her annual women's cocktail party for Kay, a Sun Valley tradition. Susie Buffett brought See's lollipops, and they all gathered around Graham for a picture, with lollipops in their mouths.[12] After a while, Don Keough, Diane's husband Barry Diller, News Corporation CEO Rupert Murdoch, and several of the other men crashed the party and joined Don Graham.

Saturday dawned. The audience settled into its chairs to hear Andy Grove, head of Intel, kick off the morning with "Internet Interrupted." Then Diane Sawyer moderated a panel, asking Meg Whitman of eBay; Sir Howard Stringer, CEO of Sony; and AOL Time Warner's Steve Case "Pulse of America: How Do You Find It?" Sun Valley frothed and bubbled like a junior high school cafeteria being filmed for a documentary, with reporters round-robining rumors that USA Networks, or AOL Time Warner, or Disney, or Charter Communications, or some combination of them, were going to hook up with AT&T Broadband.[13] Many of those present wished the television tents would disappear.

After Diane Sawyer, Buffett was once again the scheduled speaker. Since the market's peak in March 2000, over four trillion dollars of stock-market value had evaporated.[14] At least 112,000 dotcom employees had been fired.[15] Meanwhile, the surviving Internet businesses were entering their adolescence. Surely, some reasoned, he would no longer think Internet stocks overvalued. The audience was hoping he would relent from his previous bearishness.

Yet Buffett showed them a graph indicating that the value of the market was still one-third larger than the economy. That was far higher than the level at which Buffett said he would buy stocks. It was considerably higher than the market had ever stood in modern history—higher, even, than the peak of the Great Bubble of 1929. In fact, the graph suggested that the economy would have to nearly double, or the value of the market would have to fall by nearly half, before he would get *really* excited about it.[16] He told them that despite two years of keelhauling, even with the NASDAQ down by more than half, he would *still* not buy. He expected the stock market (with dividends included) to grow at no better than about seven percent a year, on average, for possibly as long as the next twenty years.[17] That was only about one percent higher than he had said two years before. It was a dispiriting message, most of all to Buffett himself—who was about to celebrate his seventy-first birthday—and to the track record he wanted to maintain.

"That shouldn't be the way markets work," he said, "but that *is* the way markets work. And in the end, that's what you should remember." He put up a slide.

ANYTHING THAT
CAN'T GO ON FOREVER
WILL END.
—Herb Stein[18]

Many in the audience were shocked and sobered—but impressed. "You basically have to listen to Warren," said Jeff Bezos, CEO of Amazon.com. Amazon was trading at $17, down from $113 at its high. "Some things he said were quite painful, but, by God, the man is a genius and so far seems to be right."[19]

Buffett enjoyed congratulations for his speech at lunch under a tent on the deck behind Herbert Allen's condo, where a group of about a hundred people, including the Grahams, had gathered. He sat with President Vicente Fox of Mexico—whom he thought of as "an old Coca-Cola guy"—and kicked around the economy.[20] Then he went off to play golf.

Kay Graham rode over to the bridge room to play cards. After a while she said she was not feeling well and had decided to go back to her room. She called to alert her assistant, whom she had left waiting for her at Herbert Allen's condo next door to her own, then walked out to her golf cart and drove back to her condo alone.

The assistant had started to check out the window for her every couple of minutes. She looked and saw that Kay's golf cart had already arrived, but it was empty. She sprinted outside and saw Kay lying at the top of the steps on the porch in front of her door. Running over, she bent and spoke to Graham, who didn't respond. She started screaming for Herbert Allen to come out.[21] By the time the emergency medical technicians arrived a few minutes later, Don Graham had rushed back from the golf course. He was going to need someone to help him make decisions, and asked Buffett whether he wanted to come along. But Buffett could not do it.[22] Griffith Harsh, a prominent neurosurgeon who was married to eBay CEO Meg Whitman, went with Don to look at the CAT scan at St. Luke's hospital in Ketchum, about ten minutes away.[23]

Photo Insert Four



Image 72
Buffett and Federal Reserve Chairman Alan Greenspan appear at the Greater Omaha Chamber of Commerce, February 20, 2004.



Image 73
"End Zone" Buffett explains the finer points of the game during a charity event for Jean Naté.



Image 74
Warren holds Susie close in July 2004, one of her few public appearances after recovering from oral cancer surgery.



Image 75
Buffett shows his feelings for GEICO at the company's new Amherst, NY, facility in January 2005.



Image 76
Charlie Munger goes for a read in England.



Image 77
Buffett and former president Bill Clinton at a Girls, Inc. fund-raiser in Omaha, December 2006.



Image 78
Buffett with friend Sharon Osberg.



Image 79
Bill Gates Sr., Bill Jr., and Warren in China, 1998.



Image 80
Bitten by a cheetah, chased by a polar bear…photographer and conservationist Howie Buffett donates to wildlife preservation.



Image 81



Image 82
At Buffett's 75 birthday party at Sharon Osberg and David Smith's house, he and Gates attempt to learn landscape painting. Afterward, Buffett stands by his finished work of art.



Image 83
After his colon-polyp surgery in 2000, Warren grew a beard for the first time in his life.



Image 84
Warren, Doris, and Bertie reenact their childhood photograph (see Photo Insert 1) with expressions appropriate to their feelings at the time.



Image 85
Buffett and Arnold Schwarzenegger at a NetJets conference for business leaders in England, September 2002.



Image 86
Buffett interviews San Francisco 49ers cheerleaders for flight attendant jobs at another NetJets event.



Image 87
Buffett concedes defeat to Ariel Hsing, the nine-year-old ping-pong player who trounced him on his birthday, August 30, 2005.



Image 88
In May 2004 in New York, Bono presents Susie with a picture he painted of her featuring U2 lyrics. Afterward he declared they were "soulmates."



Image 89
Buffett's friend Walter Schloss boogies the night away at his ninetieth birthday party in 2006.



Image 90
On his birthday on August 30, 2006, two years after Susie's death, Warren marries a tearful Astrid in a private ceremony at Susie Jr.'s house.



Image 91
A scene from Peter Buffett's* Spirit: The Seventh Fire, *a show about recovered identity. The* Philadelphia Inquirer *compared it to a Philip Glass opera, with "guitar rolls that would put U2's The Edge to shame."



Image 92

Bill and Melinda Gates share a joyful day with Buffett on June 26, 2006, when he announces that he will give most of his fortune to the Bill and Melinda Gates Foundation.

Susie Jr. drove off to meet Don and Herbert Allen at the hospital. She knew very well that no one could expect her father to deal with any kind of medical crisis. Big Susie had had a cardiac catheterization in 1997, and Warren got on a plane to go to San Francisco to be with her. When Kathleen Cole called to say that Susie was going to be okay, he turned the plane around in midair and went back to Omaha. Since then, Susie had been in the emergency room repeatedly with excruciating abdominal adhesions and intestinal blockages. In 1999 she had her gall bladder removed. Throughout all of her medical problems over the years, Warren had never once been able to endure the emotional distress of going to the hospital to be with his wife.[24]

Shortly after he and Don arrived at St. Luke's and the radiologist took the CAT scan, Dr. Harsh saw it and said, "Kay needs to get to a trauma center." The hospital helicoptered her to St. Alphonsus Regional Medical Center in Boise; Herbert Allen arranged a private plane—somewhat bigger than a riding lawn mower and flown by a couple of cowboys in jeans and T-shirts—to take Don and Susie to Boise.

While all of this was transpiring, Warren retreated to his condo. Big Susie had left earlier that day for a wedding in Greece and knew nothing of what was going on. Peter and Jennifer, Howie and Devon were still at Sun Valley; Peter and Howie came by briefly, but even at such a time it was unnatural for Warren to tune the unfamiliar instrument of his emotions to make an openhearted connection with his sons. Sharon Osberg was not at Sun Valley; nor, of course, was Astrid. With both his wife and his daughter also unavailable to him, it was Bill and Melinda Gates, Ron and Jane Olson, and Susie Jr.'s boyfriend who sat with him waiting for news of Kay. Their job was to help distract him from what was going on by talking of anything but her. Susie Jr. had called from Boise to say that she was going into surgery, but that was all.[25]

Kay was taken into the operating room, then brought out. Around midnight, Dr. Harsh came by to tell Don and Susie that things looked worse and Kay needed another CAT scan. They wheeled the gurney back into surgery and handed her watch to Susie Jr., who felt her stomach drop.[26]

Around two o'clock in the morning, since there had been no further word from Boise, Buffett decided to go to bed. Everybody left.

Ninety minutes or so later, the doctors moved Kay to intensive care. "We're really not sure what's going to happen," they said. Susie Jr. called her father and woke him up. She told him to get the family on the plane. Buffett had to call everyone and organize their departure.

A couple of hours later, when the NetJets plane taxied into Boise, Warren called Susie Jr. and said he didn't feel he could come to the hospital. She told him that he had to come; Don was distraught and needed him to be there. Even if Kay was not conscious and couldn't see him, she would be able to sense his presence. Reluctantly, he acquiesced.

When he got to the hospital, his daughter met him downstairs in the lobby. She knew he was so frightened that he would have to be coaxed. "You have to come upstairs," she insisted. "You have to come." She led him to intensive care, where Don Graham, red-faced from weeping, was sitting alone with his mother. Kay, drained of color and unconscious, lay connected to monitoring devices that blinked little lights and made tiny noises. There was an oxygen mask over her mouth. Warren and Don clung to each other, sobbing. Lally Weymouth, Kay's oldest child and only daughter, arrived. Eventually, Susie Jr. took her father downstairs. There was nothing more they could do. As the rest of Kay's children gathered in Boise, the Buffetts boarded a plane for a sad ride back to Omaha.[27]

Two days later, the call came that Kay had died. Warren had already told Lally that he wasn't going to be able to speak at Kay's service. He would be an usher along with Bill Gates. Astrid took care of him at home, and work consumed him at the office. When he wasn't working, Sharon played bridge with him or he played helicopter, anything to distract himself from the many shocks and horror of Kay's death. So sudden, on such a happy occasion; not being there when it happened; the ambulance, the helicopter, Susie Jr. calling about the surgery; sitting in the condo waiting, the phone call in the middle of the night, flying to Boise not knowing; going upstairs to see Kay lying so still and white, barely breathing; the normally controlled Don Graham so distraught; the terrible trip home away from Kay, whom he would never see again; the phone call with the news; no Big Susie to shepherd him through it all. No more Kay, no more Kay Parties, never again.

And yet, the day after Graham died, Buffett arrived, as scheduled, to speak to an audience of college students at the Terry College of Business at the University of Georgia. He climbed onto the stage wearing his stiff gray suit and looking only a little more awkward than usual, his breathy voice grating slightly. *"Testing, one million, two million, three million,"* he said at the microphone. This line could always be counted on to get a laugh, and it did. He then launched into a couple of Nebraska football jokes but, out of character, rushed the punchline and got only chuckles from the audience.

Then he seemed to catch his rhythm. *"People ask me where they should go to work, and I always tell them to go to work for whom they admire the most,"* he said. He urged them not to waste their time and their life. *"It's crazy to take little in-between jobs just because they look good on your résumé. That's like saving sex for your old age. Do what you love and work for whom you admire the most, and you've given yourself the best chance in life you can."*

They asked him what mistakes he had made. Number one was Berkshire Hathaway, he said—spending twenty years trying to revive a failing textile mill. Second, US Air. Buffett spoke of his failure to call the Air-aholic hotline beforehand. Third, he said, had been buying the Sinclair gas station as a young man. That mistake, he reckoned, had cost him about $6 billion compared to what he could have earned on the money invested.

But his mistakes of omission—things he could have done and didn't do—had plagued him most, he said. He mentioned only one—failing to buy FNMA stock, the Federal National Mortgage Association. That, he said, had cost about $5 billion as of that date. There were others: passing on the television station that Tom Murphy had tried to sell him; not investing in Wal-Mart. The reason that he had made mostly mistakes of omission instead of commission, he explained, was his cautious approach to life.

Buffett had talked many times before about mistakes. But when he spoke, as he often did, of his mistakes of omission, he never ventured beyond business mistakes. The errors of omission in his personal life—inattention, neglect, missed chances—were always there, the side effects of intensity; but they were shadow presences visible only to those who knew him well. He spoke of them only in private, if at all.

To the students, he explained his "Twenty Punches" approach to investing. *"You'd get very rich,"* he said, *"if you thought of yourself as having a card with only twenty punches in a lifetime, and every financial decision used up one punch. You'd resist the temptation to dabble. You'd make more good decisions and you'd make more big decisions."*

He ran his life on Twenty Punches, too, with as little flitting as he could arrange. Same house, same wife for fifty years, same Astrid on Farnam Street; no desire to buy and sell real estate, art, cars, tokens of wealth; no jumping from city to city or career to career. Some of that was easy for a man so certain of himself; some of it came with being a creature of habit; some of it was a natural tendency to let things compound; and some of it was the wisdom of inertia. When he gave somebody a punch on his card, they became a part of him and that decision was permanent. Any crack in the facade of permanence was extraordinarily difficult for him to face.

* * *

A few days later, police arrived early in the morning to close nearby streets for the crowd they expected at the Washington National Cathedral, its gargoyle-bedecked flying buttresses silhouetted against a bright blue sky.[28] Television crews began to set up for an elaborately orchestrated event that had all the trappings of a funeral for a head of state. By late morning, buses bearing *Washington Post* employees pulled up one by one. A blue-and-white-striped bus carrying members of the Senate arrived, and people began streaming in from cars and limousines. Gradually the front pews filled with dignitaries like Bill and Hillary Clinton and Lynne and Dick Cheney. Around the Cathedral famous faces were everywhere: Supreme Court justices Ruth Bader Ginsberg and Stephen Breyer; celebrity journalists Charlie Rose, Tom Brokaw, Mike Wallace, and Ted Koppel; *USA Today* publisher Al Neuharth; Federal Reserve Chairman Alan Greenspan and his wife, journalist Andrea Mitchell; editor Tina Brown; Senator Ted Kennedy; Congressional delegate Eleanor Holmes Norton.[29] Hundreds, then thousands, of people filed in through the enormous bronze doors to the sound of the National Symphony Orchestra and the Kennedy Center Opera House Orchestra Brass Ensemble, gradually assembling into what looked like the largest crowd the cathedral had ever held.[30]

From the nave, thousands of men in dark suits and white shirts formed a Mondrian backdrop for the women, a pointillist grid of black and white. The women wore houndstooth check and crisp seersucker; black suits with dainty white cotton blouses; sleeveless black sheaths with jackets and sleeveless black sheaths with bare arms; white skirts with black sweaters; and black jackets over dotted Swiss and black-and-white polka-dotted dresses. Their heads were topped with small black hats with discreet netting, black-and-white picture hats fit for Ladies' Day at Ascot, black straw bonnets with swooping veils. The cathedral was awash in a sea of pearls, from pearls as small as peppercorns to pearls like huge champagne corks, black and white pearls on hundreds of wrists, necks, and earlobes; women wearing strands of pearls the width of a lingerie strap, a curtain tieback, a first-prize ribbon. Every detail paid tribute to the woman who had awed the world for years in a summation and celebration of her life that had become the second, the grandest, the most stately, and the final Black and White Ball.

As the service began, Buffett and Gates slipped into a pew next to Melinda. The music started. Historian Arthur Schlesinger spoke; Henry Kissinger spoke; Ben Bradlee spoke; Graham's children spoke. Near the end, former Senator John Danforth gave the homily. Graham, he thought, never said much about religion, but she lived the way a believer is supposed to live. "She dismissed out of hand the notion that she was the most powerful woman in the world," he said. "In Washington, especially, a lot of people strut, and Kay did not strut…. We do not attain the victory of life by selfishness. Victory is for those who give themselves to causes beyond themselves. It is very biblical and very true that everyone who exalts themselves will be humbled and he who humbles himself will be exalted. That is a text for all of us. It was lived by Katharine Graham."

Melinda Gates reached up and wiped away tears while Buffett sat next to her husband with a frostbitten, grief-stricken face. The two cathedral choirs, dressed in black and white robes, sang Mozart. Carefully, the pallbearers lifted the casket to their shoulders and bore it down the aisle while the congregation sang "America the Beautiful." The family followed the procession out of the cathedral to the Oak Hill Cemetery across the street from Graham's house, where she would be interred next to her late husband.

Early that afternoon, more than four hundred people swept up the circular driveway to Graham's house and walked around to the rear garden, where her children and grandchildren stood about, chatting with guests. At a buffet inside the tent, people ate finger sandwiches and sliced ham and tenderloin. They wandered around past the swimming pool, and found their way into the house to gather the collection of memories that it held. They stood in the living room where President Reagan had gotten down on his hands and knees to pick up ice cubes he'd spilled on the floor, and gazed for one last time at the books and knickknacks in the library where Mrs. Graham had pondered whether to print the Pentagon Papers. They paused by Napoleon's china on the walls next to the round dining tables in the golden room where American Presidents from Kennedy to Clinton had dined. From Jacqueline Onassis to Princess Diana, if Katharine Graham invited them, they all came.[31] The house itself was a kind of history.

Warren walked through Kay's house for one last time to remember, but he did not linger. He left early and would never return.[32]

As the afternoon wore on, the rest of Katharine Graham's friends and admirers told her good-bye. They withdrew down the long hallway gallery past the rooms where she had entertained them so often and slipped past the garden outside. Then slowly, sometimes reluctantly, they left the last Kay Party, and began their final trip down the pebbled drive.

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By the Rich, for the Rich

Omaha • July 2001–July 2002

Buffett flew back to Nebraska alone. He knotted every waking minute into a web of distractions. He read the financial reports that came into his office. He read the *Financial Times,* the *New York Times,* the *Wall Street Journal.* He watched CNBC. He talked to people on the phone. He played bridge in the evenings after work. He surfed the Internet for news online. In between, he played helicopter on the computer.

A week later he was crying on the phone, great gulping sobs, choking, gasping cries that left him out of breath. The convulsion broke through the dam that had kept his grief contained.

A moment later, after the torrent of grief had poured out of him, he was recovered enough to speak. He regretted not being able to eulogize Kay at her funeral, he said. It shamed him. The man who had worked so hard to become comfortable on a stage felt that he should have been able to do that for Kay. And there would be more regrets, more second thoughts.

"If I'd been playing bridge with her that day she might not have fallen," he reflected later, sadly. *"I would have taken her back in her golf cart myself. She might not have died."*

But Kay probably would have walked up the steps by herself anyway. And nobody knew whether she died from the fall or whether she had fallen because she had a stroke.

Still, Warren was plagued by a sense of lost opportunities. He felt at times that, had he been with her, he could somehow have kept Kay safe.

As weeks passed, if her death was mentioned, his eyes teared and the conversation would come to a stop while he collected himself. Then, like a motor turning over and restarting, he would brighten and shift to other subjects.

During August, other events helped to turn his mind away from the tragedy. He was planning the tenth and final Omaha Classic charity golf tournament, which would take place in September. And he was already looking forward to the Buffett Group meeting in Biarritz, France, in October. In the meantime, he flew to Cody, Wyoming, with Big Susie for a long weekend at Herbert Allen's J—9[*33] ranch on the North Fork of the Shoshone River.

Buffett would much rather watch a western movie than visit a dude ranch. But as with Sun Valley, he went for the mix of elephant-bumping and people he considered friends. At Cody, he and Susie spent a leisurely, relaxed time with media CEO Barry Diller and his wife, Diane von Furstenberg; Don and Mickie Keough; film director Mike Nichols and his wife, newscaster Diane Sawyer; producer Sydney Pollack; actress Candice Bergen; and Intel CEO Andy Grove and his wife, Eva, among others.

The Buffetts arrived late in the evening and spent the first night in one of the hand-hewn cedar-shake log cabins that encircled the central lodge. They began the next morning greeting other early arrivals over

breakfast, which for Warren usually meant last night's leftover dessert. The rest of the day, as guests trickled in, he relaxed in the lodge or his cabin, reading books, playing bridge on the computer, and reading the newspapers that Allen had printed off the Internet for him. The others began to entertain themselves with trail rides up the canyon on some of Allen's ranch geldings to see the elk and deer. Some people headed off on mountain-bike expeditions or went fishing in the river that ran through the property. Buffett skipped all of this. But at mealtime he appeared at the long rectangular table in the lodge, where the guests sat surrounded by dark leather furniture and romantic rustic paintings by Thomas Hart Benton and Frederic Remington. Buffett presided over a salon at the dinner table, talking politics, money, and world affairs. While the rest ate fish, chicken, game, and salads, the cook at Cody challenged his appetite with huge slabs of meat.[1]

After dinner, Allen's friend Al Oehrle took over at the piano. The guests sang from Candice Bergen's songbook, standards by Gershwin, Irving Berlin, and Cole Porter. Susie often sang solos. Buffett played his ukulele, and, as he did every year, sang a duet of "The Hut-Sut Song"—an appalling number from the 1941 Hit Parade—with movie producer Sydney Pollack—a performance always dreaded by the audience, which made him look forward to singing it all the more.

Hut-Sut Rawlson on the rillerah and a brawla, brawla sooit.
Hut-Sut Rawlson on the rillerah and a brawla sooit.[2]

The return from Cody effectively marked the end of Buffett's summer vacation. His birthday would be arriving in a few weeks, something to which he feigned indifference but actually dreaded. The one highlight was hundreds of cards, gifts, and letters from friends—or, by now, mostly strangers—that poured into Kiewit Plaza every year for weeks beforehand. Buffett was far from jaded, but it was hard to thrill a multibillionaire—one who didn't want to be a year older and cared nothing about possessions—with a birthday gift. He appreciated the cards and letters, the sentimental, and was touched by anything unique that reminded him of past episodes of his life. Otherwise, he had so much Coca-Cola memorabilia by now, so many Nebraska football posters, so many flags, quilts, paintings, collages, and other tributes to him and photographs of himself with other famous people that there was hardly any space left on an entire floor of hallways. His actual birthday was a low-key event, usually just dinner at someplace like the Olive Garden with family and perhaps a few friends.

This year he was turning seventy-one. He could not believe he was seventy-one. He could not believe it, either, when he'd turned forty, and fifty, and sixty, and seventy. But this year, especially, he did not want to think about his birthday, because he did not want any reminders of time passing so soon after Kay's death.

Fortunately, the Omaha Classic golf tournament, an annual event that the Buffetts sponsored to benefit various local institutions, followed his birthday like recess after study hall. Corporate CEOs and celebrities, friends and relatives, people he knew and enjoyed, were coming to play golf and tennis at the Omaha Country Club.[3] The guests at this event were another collection, like his shareholders, like the people who came to Omaha for his shareholder meeting, like the members of the Buffett Group. As the days counted down, the staff juggled shifting guest lists, airport transportation, and food and entertainment for golfers at the club. Buffett enjoyed knowing the details: who would come, how many times a guest had come before, who was attending for the first time, and how much money the event would raise.

Most of the guests arrived Monday evening for a dinner at the Omaha Country Club with entertainment by Academy Award–winning songwriter Marvin Hamlisch.[4] Every year he sat at the piano and made up personal songs on the spot for anyone who asked.

"He didn't play golf. He came to the tournament some years ago, and he likes Little Sooz, and she likes him. And he said, 'Why don't you let me do a little show the night before for the people who come in early?' It got to be the best part of the golf tournament. You say, 'I wish I could get rid of that damn hook that I have with my three wood,' and it's a song. People thought it was rigged. It wasn't rigged. If you said, 'I can't believe my mother-in-law steals the sugar packets from restaurants,' thirty seconds later he's banging out a little tune and singing a song to that refrain."

The next morning dawned under a flawless blue dome of sky. Around eight o'clock, Buffett's phone rang. It was Devon Spurgeon, a *Wall Street Journal* reporter who had been covering Berkshire Hathaway. "Oh, my God, Warren, turn on the TV," she said. He turned it on to a news channel. At opposite ends of the phone line they watched what appeared to be a horrible aviation accident. The cameras were running footage that panned across the North Tower of the World Trade Center, whose upper stories were slashed through by a jagged, gaping wedge of flames. An airplane appeared, circled toward the building, and plunged into the side of the South Tower, exploding in a corona of flames like a bomb going off. They watched in silence as the news channel began repeating the footage: Plane turns, dives into building. Plane turns, dives into building. "Devon," said Buffett, "the world has changed." He started asking her about her office, which was two blocks from the Sears Tower in Chicago. Listen, he said, that's not a safe place to be. The *Wall Street Journal* headquarters in New York was across the street from the World Trade Center. They discussed the fact that the *Journal* staff must be evacuating and reporting at the same time. Spurgeon could hear Buffett switching, as they spoke, into his fastest-thinking, most rational, problem-solving mode.[5]

As he was hanging up the phone, the FAA halted all flight operations at U.S. airports, and minutes later American Flight 77 crashed into the Pentagon. About fifteen minutes after that, while the White House was evacuating, Buffett, his mind latticing bits of information into a plan, called General Re, where he was supposed to be speaking the next day to a group of employees. He said that he was still planning to fly out to Connecticut if the airports reopened and flights resumed.[6] General Re and its neighbor in Connecticut, Ajit Jain's Berkshire Re, were both international gateways to insuring potential losses from terrorism. Meeting with them now would enable him to talk with his managers about suddenly significant issues at a critical time.

While Buffett was working out logistics with General Re, the South Tower, burning from inside, collapsed, as did a portion of the Pentagon. Within minutes, United Airlines Flight 93 crashed near Shanksville, Pennsylvania. Over the next half hour, government buildings were evacuated, and the North Tower collapsed. The New York Stock Exchange closed and civilians fled the clouds of smoke and debris in lower Manhattan.

Almost everyone in Omaha at the golf tournament was affected in some way or another, however remotely. Many had friends, relatives, neighbors, or business acquaintances who worked in the towers. The tournament staff took care of their needs and helped them with logistics. One, Ann Tatlock, the CEO of Fiduciary Trust, which was headquartered in the Trade Center, spent the rest of the day in her hotel room, making phone calls.[7] About a hundred Fiduciary Trust employees would prove to be missing. Berkshire, of course, had employees in businesses scattered all across the country. In the end Buffett would find that Berkshire had lost no employees—only money.

Some people decided to leave the golf tournament immediately, but with all airports closed this was not easy. A few started making arrangements to rent cars and leave. Others stayed, some because they didn't want to insult Buffett, many because they had no choice.[8] Radio commentator Rush Limbaugh, on the way to the tournament, had turned his plane around in midair and headed back to New York.[9]

While these momentous events were occurring, Buffett proceeded with his schedule, compartmentalizing as he did under stress even in extreme situations. He arranged to complete the acquisition of a small business that was already in process. Then he went ahead with a meeting that had been scheduled with the head of Home Depot, Bob Nardelli.[10] Afterward he showed up at the Omaha Country Club, where about a hundred guests were milling around or dining on hamburgers and ice cream. Buffett said that things would go on as planned but people should do whatever they needed or wanted to do. Guests wandered in and out of the club making calls and checking the news on television. Tony Pesavento and Gary Wiren, the local pros, followed lunch with a golf lesson, and the tournament got rolling in a surreal atmosphere. Buffett rode a golf cart through a planned circuit of stops at different tees so guests could have their picture taken with him.[11] A strange calm hung over the event, which was like a celebrity golf tournament the day Pearl Harbor was attacked. And in fact, like Buffett, more than a few of the golfers could remember Pearl Harbor and its aftermath. This was not an excitable crowd. Most of them were prominent businessmen accustomed to stress and pressure, from a generation of men that considered poise and equanimity in the face of disaster as

essential as the suits and ties they wore every day to work.

Buffett had fallen automatically into statesman mode, moving through his routine with smooth composure. Even so, his brain was busy turning over the threat of terrorism and its broader implications for weapons of mass destruction, as well as the possible effect this would have on the economy.

He was more prepared for this than most because he had already been thinking about terrorism risk. In May, he had told General Re and Berkshire Re to cut back on insuring buildings and clients that represented a concentration of exposure to terrorism risk, his mind working as it always did to extrapolate toward potential catastrophes. He had actually cited the World Trade Center as an example of a building complex where a cluster of clients might create too much risk.[12] While the rising threat of terrorism in the late 1990s and early-millennium years was no secret, Buffett's attempt to protect Berkshire against the danger had been unusually prescient, and probably unique among insurers.[13]

All day long Buffett had been thinking about what to say that evening after dinner. He knew that the stock market, which was closed, would plunge as soon as it reopened. He realized that the innocence of the United States had now been shattered, and the government would be grappling with an unseen enemy. He saw his role as to convey his thoughts on what all of this meant.

The guests who attended the dinner that night watched President Bush's speech on a giant TV screen, then heard Buffett speak about terrorism, contrasting it with conventional war. *"Terrorists have a huge advantage. They pick the time, the place, and the means. It's very difficult to defend against fanatics…. This is just the start of things. We don't know who our enemy is. Now, it's us versus a shadow. There could be many shadows."*[14]

The following morning and over the next few days, as airports gradually began to allow flights to resume on a limited schedule, the Buffetts organized dinners, tennis, and golf for the remaining guests until everyone was able to straggle home from Omaha.[15] With the cleanup under way in lower Manhattan, and "Missing" posters going up all over New York City, Buffett considered how he could use his nationally recognized reputation to help the country. The stock market was about to reopen after its longest recess since the Great Depression. He agreed to go on *60 Minutes* with former Treasury Secretary Robert Rubin and Jack Welch, the recently retired CEO of General Electric. Americans would recognize him as an expert on investing and the stock market, more than anyone else. On the show that Sunday evening, Buffett said that he would not be selling stocks—he might be a buyer if they declined enough—and explained that he had confidence in the ability of the United States economy to surmount the ripples from the terrorist attack. By now Warren Buffett's reputation for honesty, built over decades, was known to anyone who cared about the stock market. When he said something, people knew he meant it. At Sun Valley, of course, Buffett had said the value of the market would need to fall by half before he would get *really* excited. So when he said he might be a buyer if stocks declined enough, the savvy knew he meant it—but they also knew "enough" meant "a hell of a lot."

The next day, the Dow fell 684 points, or seven percent, its largest point decline ever in a single day. The Federal Reserve began to take action after the market plunged on its reopening, cutting interest rates fifty basis points (half a percent). By the end of the week, the Dow had fallen more than fourteen percent, its largest one-week drop in history. Yet the drop as a percent of investors' wealth was less than half that of 1987, when the market plunged by one-third. From the time trading opened, sellers concentrated on sectors like insurers and airlines, where the most serious financial consequences would be. People were less panicked than they were groping in the dark to try to make intelligent guesses about the unknowable.

Within days, as barricades and new security gates were installed all over Manhattan amid bomb scares and the Buffett Group trip to Biarritz was canceled, Buffett talked to Berkshire's insurers and tried to assess the damage to Berkshire Hathaway. The initial estimates, which would later be revised slightly upward, indicated that Berkshire had lost $2.3 billion.[16] This was many times its largest loss from any earthquake, hurricane, tornado, or other natural disaster to date. Of the total, $1.7 billion came from General Re.

Buffett had had enough. He went to work writing a special letter that he posted on his Web site, excoriating

General Re for having broken the "basic rules of underwriting." Since he had never, in the history of Berkshire Hathaway, publicly dressed down the management of one of his companies, the effect was to brand General Re with a red-ink scarlet letter, which remained posted on the Web site for all to see. It was now in a precarious situation. Having publicly embarrassed Buffett in such a dramatic way, it risked becoming the next Salomon—a business that he could never embrace, that would instead become only another cautionary tale.

* * *

After the stock market crash of 1987 and then again after the collapse of Long-Term, the Federal Reserve had slashed interest rates three times within seven weeks, priming the market pump with easy money. Now, to prevent panic, the Fed took interest rates down to historically low levels once again. The Fed's role was to maintain the banking system's liquidity. This time, however, the Fed would keep interest rates artifically low for three years.[17] Fueled by cheap money, one month after the attacks, stocks completed a full recovery, restoring $1.38 trillion in market value. But the upheaval was far from over, and the market remained in a nervous mood, partly due to uncertainty over the outcome of the United States and British invasion of Afghanistan a few weeks after 9/11. Then, in November, an energy trading company called Enron stuck a pin in the remains of the late 1990s stock-market bubble, which had shrunk but not burst. As the Justice Department moved in, Enron melted into bankruptcy in the heat of an accounting fraud.

Enron was an extreme but not isolated situation. The excesses of the stock-market bubble and the opportunity for executives to pillage their companies led to a whole series of accounting-fraud and securities-violation cases: WorldCom, Adelphia Communications, Tyco, ImClone. As 2002 began, New York Attorney General Eliot Spitzer mounted a blitzkrieg assault against the Wall Street banks for having inflated stock prices by touting new offerings during the Internet bubble using biased stock research.[18] Valuations of stocks and bonds began to fall apart as investors lost confidence in the numbers reported to them by managements.

Berkshire's best opportunities always came at times of uncertainty, when others lacked the insight, resources, and fortitude to make the right judgments and commit. *"Cash combined with courage in a crisis is priceless,"* said Buffett. Now his time had come round again. Anyone of normal energy might have been overwhelmed, but Buffett had been waiting for years for the kind of opportunities that sleeted down upon Kiewit Plaza. Every one of his faculties seemed engaged at once. He bought a group of junk bonds, which had become cigar butts, for Berkshire. He bought the underwear maker Fruit of the Loom, quipping, "We cover the asses of the masses."[19] He bought Larson-Juhl, which made picture frames. Berkshire's MidAmerican Energy subsidiary invested in the troubled Williams Companies and bought its Kern River Pipeline.[20] Berkshire bought Garan, the maker of Garanimals children's clothing. It picked up the Northern Natural Gas pipeline from Dynegy, another troubled energy company.[21] Within days, MidAmerican lent more money to Williams Companies.[22] It bought The Pampered Chef, which sold cookware at parties through a sales-force of 70,000 independent "kitchen consultants." It bought farm-equipment maker CTB Industries and teamed with investment bank Lehman Brothers to lend $1.3 billion to struggling Reliant Energy.

Ajit Jain quickly moved into the terrorism-insurance business, filling a sudden vacuum by insuring airlines, Rockefeller Center, the Chrysler Building, a South American oil refinery, a North Sea oil platform, and the Sears Tower in Chicago. Berkshire was paid to unburden the Olympics of the dubious risk that either the Games would be canceled or the U.S. would not show up at least twice before 2012. It insured the Winter Olympics in Salt Lake City against a terrorist attack. It insured the FIFA World Cup soccer championship against terrorism.[23] Buffett was handicapping.

Some of Berkshire's businesses struggled in a weak economy. Buffett had always said he'd rather have a lumpy fifteen percent return than a steady ten percent. It didn't bother him. Most would naturally right themselves over time. NetJets, however, was struggling, not just because of the economy but because the premise for buying it—the uniqueness of its franchise—was looking less unique. Other people who forgot to

call the Air-aholic hotline kept setting up businesses to compete with NetJets, even though the economics of the fractional aviation business were unattractive. Buffett now realized that it was testosterone that caused Air-aholism. *"If only women could be CEOs of companies that flew planes,"* he said, *"I think it would be a lot better. It's like sports franchises. If only women could own sports franchises, they'd sell for one-tenth what they sell for now."* He told the shareholders that NetJets would return to profitability and would dominate its market. He did not point out, however, that it might not earn the margin on capital he had hoped, at least not any time soon. It was a letdown, but still a lot better than a money-losing textile mill. Besides, NetJets was fun. He knew mountains of minutiae about how the planes were purchased, managed, scheduled, routed, maintained, insured, piloted, crewed, and even how the pilots were trained. NetJets was cool. He did a lot of elephant-bumping at NetJets events. He would never sell it, even if the world's other mega-billionaires tried to arm-wrestle him for it.

The more serious, if smaller, problem was Dexter Shoe, the modern equivalent of the textile mill. Buffett would later say it was the worst acquisition he had ever made, quoting Bobby Bare's country song: "I've never gone to bed with an ugly woman, but I've sure woke up with a few."[24] He changed the management. Frank Rooney and Jim Issler, who ran Brown Shoe Company, a more successful operation, eventually shut down Dexter's U.S. operations and moved them overseas.[25] For every dollar they were paying workers in the U.S., it cost a dime to hire employees to make shoes elsewhere.

"I was wrong about the economic future of that one. The people working in the town of Dexter, Maine, were wonderful people who were very good at what they did. But even if they were twice as good as the Chinese, the Chinese would work for a tenth as much."

Yet even with all this money-spinning activity, Buffett felt that the most important opportunity given him in the aftermath of 9/11 had nothing to do with business. Rather, he now had both the privilege and the responsibility to use his pulpit to influence events and ideas. After the bubble of hubris that had enveloped the financial community for the past several years, America had become more sober-minded, and less blind to the corner-cutting in the name of greed that had gone on in the late 1990s. Buffett thought the time was right for him to speak up about the rapacity of the rich and the way it was being validated by fiscal policy.

His sense of justice was particularly inflamed by a proposal that was a centerpiece of President Bush's new budget—a plan to gradually repeal the decades-old federal estate tax, which took for the government a slice of the largest inheritances. Supporters of the plan referred to the estate tax as the "death tax," which had an ominous sound. The mantra was that death shouldn't be a taxable event. They called the estate tax a barrier to the ambitions of hardworking entrepreneurial people. They cited a proverbial family that would have to sell the family farm to pay the tax when its patriarch died. Undoubtedly, there were some such families. Buffett argued that the suffering of those few was far outweighed by the effect on everybody else.

The estate tax was technically not a death tax; it was a gift tax. Anytime someone gave a large gift of money, he paid a gift tax.[26] All gift taxes were a blockade against the return of the robber barons, who controlled so much of the nation's riches through gifts and inheritance in the nineteenth century that they became like a government unto themselves—a plutocracy—a ruling class based on wealth. The estate tax, however, was paid at a lower effective rate than the tax imposed on gifts from living persons, allowing relatively large posthumous gifts to go untaxed. Buffett used his preacher's pulpit to point out that of the roughly 2.3 million Americans who died each year, fewer than fifty thousand—two percent—paid any estate tax at all. Half of all the estate taxes paid came from fewer than four thousand people—two-tenths of one percent of those who had died.[27] These were the monumentally, colossally rich, rich on the scale of being able to own a Gulfstream-IV, buy the new Maybachs, own a vineyard in France, and wear jewels that look like rock candy and lemon-and-lime sourballs.

As to the question, it was their money, why shouldn't they be able to do what they wanted with it?—why should they "subsidize" others?—Buffett's answer was that they owed some minimum amount to the society that enabled them to become so rich. If they thought they did it all themselves, reincarnate them as one of five children of a scared, starving mother in Mali and see how rich and successful they would be after being sent to work as a slave on a cocoa plantation in Côte d'Ivoire.

If the estate tax were eliminated, he said, somebody else would have to make up the difference, since the same amount of money would still be required to pay for running the government.

For years a supply-side theory had postulated that cutting taxes would force the government to cut expenses. This theory had an intuitive logic; after all, if people were supposed to live within their income, why not the government? (Of course, by 2002, the populace was busy setting up home-equity lines of credit based on artifically cheap interest rates to avoid living within its income.) Debate over supply-side policy still boiled after twenty years; the taxes the government was collecting usually didn't cover its costs, and it was borrowing to make up the difference. The theory by now looked more dubious. Killing the estate tax would mean that the government would have to raise taxes or borrow even more money, and the interest on that debt, along with its ultimate repayment, would eventually be passed on to everybody else in the form of higher taxes. Buffett felt that proposing an estate-tax cut while running the federal budget at a deficit was, in fact, the height of hypocrisy.[28]

The average person who would pay these higher taxes if the estate tax were repealed would never face an estate tax. The push to repeal the estate tax was not coming from people who owned small ranches in Oklahoma. No, the real push, Buffett said, was coming from a tiny percentage of the country's population, people he actually knew, people who were rich enough (often very suddenly rich enough) to own a triplex penthouse in Manhattan, a nine-bedroom log cabin in Deer Valley, a summer house in Nantucket, and a condo in Costa Rica. Buffett felt that politics had slithered into the hands of people who could pay hush-puppy lobbyists from K Street to whisper in the ear of Congress and funnel political donations where they would do the most good. He didn't blame people for acting in their own interests; he even felt pity for the politicians who were chained to the grindstone of endless fund-raising. It was the system that he scorned, in which money bought power.

Shortly after President Bush's inauguration in 2001, Buffett had gone to the LBJ Room in the Capitol Building to speak about political campaign financing to a group of thirty-eight Senators who were part of the Democratic Policy Committee, then followed up with appearances on ABC's *This Week* and CNN's *Inside Politics.* Buffett said that the campaign finance system was corrupt. The current way of electing politicians had echoes of nineteenth-century Tammany Hall, where votes and influence were literally for sale. The laws were shifting in ways that enhanced the ability of the rich to get ever richer, to keep more of what they made, and to pass more of it along to their heirs. Buffett called this "government by the wealthy, for the wealthy."

He pointed out a growing army of hush-puppies and tax panderers whose job was to push for legislation that benefited the interests of the rich. He said, however, that nobody lobbied for the other ninety-eight percent of Americans. Lacking their own lobbyists, the best redress for the ninety-eight percent was to understand what was going on and to quit voting for people who enacted laws that took taxes out of the average person's pockets so the rich could pay a lower share.

Paul Newman, Bill Gates Sr., George Soros, a smattering of Rockefellers, and nearly two hundred other rich and influential people agreed and signed a petition published in the *New York Times* that opposed Bush's plan to eliminate the estate tax.[29] Buffett didn't join the petition because he thought it did not go far *enough.* He thought that rich people were lucky and blessed, and they should pay taxes. "I don't believe in dynasties," he said. Repealing the estate tax would be like choosing the nation's Olympic teams from the children of past Olympic champions, he added.[30]

"Wealth is just a bunch of claim checks on the activities of others in the future. You can use that wealth in any way you want to. You can cash it in or give it away. But the idea of passing wealth from generation to generation so that hundreds of your descendants can command the resources of other people simply because they came from the right womb flies in the face of a meritocratic society.

"I'd have a higher tax at the higher levels of wealth. I wouldn't mind having no tax up to a point and then a hundred percent tax for an estate over a hundred and fifty million dollars.

"The most important thing is to ask, 'And then what?' If you eliminate the twenty billion dollars or so raised by the estate tax, you've got to make the money up by taxing everybody else somehow. It's amazing how hard the American population will fight for the families of those few thousand people who pay large estate taxes and for the whole rest of the country to pay for it out of their own pockets.

"I don't like anything that, in effect, creates a residue of humanity. I don't like a tax system that goes in that direction; I don't like an educational system that goes in that direction. I don't like anything where the bottom twenty percent keep getting a poorer and poorer deal."

But the debate over estate taxes turned shrill and bitter. Buffett was portrayed as a silver-spooned populist, a rich old crocodile who was trying to keep the next generation from bootstrapping its way to success in the classic American entrepreneurial manner.[31]

"Dynastic wealth turns a meritocracy upside down," he wrote to Senator Ken Salazar. "In effect it says that the people who should allocate the resources of this country should be the descendants of those who excelled in amassing resources long ago."[32]

Subtly or not, the estate tax feud was informed by the issue of Buffett's own money. Some people called rich guys like Buffett tax-dodgers, because they had amassed their money through lightly taxed investments. But to say that Buffett invested to dodge taxes was like saying that a baby drank its bottle to fill its diapers. Indeed, Buffett was the first to say that the tax on investments was unfairly low. In fact, this was another of his causes. He liked to compare his tax rate to his secretary's, pointing out how unjust it was that she paid a higher tax rate on her income than he did, just because most of his income came from investing.

Having already angered all the plutocrats and would-be plutocrats, but with his credibility at a peak in other quarters, Buffett vowed to carry on the fight against repeal of the estate tax, and would spin on this subject for years. He spoke again on another subject to the Democratic Policy Committee just days before the first shots were fired in the Iraq War in 2003. He said that President Bush's plan to cut taxes on dividends was more "class welfare for the rich." In the *Washington Post,* he wrote about "Dividend Voodoo," noting again that his tax rate was lower than Debbie Bosanek's. The reaction from conservatives against yet another of Buffett's populist manifestos was swift and savage. "Millionaires are seething at Warren Buffett's betrayal of their class," said one.[33]

That, of course, was his point. He felt that the United States of America was never meant to be a country where people with money were a self-perpetuating "class" who constantly gathered more wealth and power unto themselves.

The rich, however, had been getting very rich indeed as the stock market continued its resurgence after 9/11. A dozen new hedge funds seemed to sprout every day. They were cashing in on all the leverage from the low interest rates the Federal Reserve had provided. So many people were raking in stock options and taking fees of two-and-twenty percent of other people's money in private equity funds, hedge funds, and funds of funds, that billionaires were becoming as common as raccoons around a garbage can. A lot of the quick-bucks wealth of the new economy bothered Buffett because of the way it had been transferred in massive amounts from investors to middlemen without producing anything in return. The average investor was still getting—of course—the average return, but with all of these fees gouged out.

One of Buffett's least favorite ways for the rich to get richer was through stock options—since his famous "no" vote on the pay package at Salomon, no other board had ever asked him to serve on its compensation committee. Coca-Cola had given Doug Daft options on 650,000 shares of its stock in 2001. Daft had originally asked to be compensated with stock options that would pay off only if earnings increased fifteen to twenty percent. The shareholders approved it with Buffett staring at his shoes thinking, Okay, this will never happen. A month later, the compensation committee belatedly realized that the target was impossible and Daft would never get paid. It backtracked and bonus-pimped for him, lowering the target to eleven to sixteen percent.[34] That was like moving the finish line in a marathon to the nineteen-mile mark. Buffett couldn't believe it—the shareholders had voted for twenty-six miles and would be handing out a prize after nineteen!

Another vote for the rich. So far, Daft had not impressed, and Coca-Cola's stock had gone nowhere. Watching trophy-sized option payments proliferate despite rising outrage, Buffett felt he had to seize the opportunity he had been waiting for—to finally kill counterfeit stock-option accounting.

Managers loved stock options because of a quirk of accounting history that said that if companies paid their employees with options instead of cash, they booked no cost. It was as if the stock options did not exist. In the "real" world, a privately owned business would instantly recognize this as a bogus idea. If the butcher, baker, and candlestick maker gave away options for shares worth, say, twenty percent of their businesses, they would be acutely aware that they had just given away a chunk of the profits as well.

But the accounting rules had made stock options into play money. Thus, bonus-pimping on an incredible scale had begun to occur in the late 1990s. CEOs had, on average, been paid forty-two times as much as the average blue-collar worker in 1980. Twenty years later, that ratio had increased to more than four hundred times.[35] The top-earning CEOs got billion-dollar packages. In 2000, Sandy Weill was paid $151 million at Citigroup, Jack Welch $125 million at GE, Larry Ellison $92 million at Oracle. Although Steve Jobs was taking only a $1 salary at Apple for 1997 through 1999, he got a windfall $872 million stock-option grant in 2000—plus a $90 million Gulfstream jet.[36]

When the accountants had tried to change these rules in the early 1990s, corporate America, led by Silicon Valley, stormed the gates of Congress, armed with lobbyists and campaign contributions, begging their representatives to save them from the terrible new accounting rules. Until the bubble finally burst in 2002, they had succeeded in stopping those rules dead in their tracks and had almost succeeded in murdering the Financial Accounting Standards Board, the accounting rulemaker, to boot.

Buffett had been writing about stock options since 1993 but now felt the time was finally ripe for change. He wrote a thundering, influential editorial in the *Washington Post,* "Stock Options and Common Sense."[37]

"CEOs know what their option grants are worth. That's why they fight for them," he wrote, and repeated the questions he had raised before.

"If options aren't a form of compensation, what are they?

"If compensation isn't an expense, what is it?

"And if expenses shouldn't go into the calculation of earnings, where in the world should they go?"

At Sun Valley in July 2002, emotions ran high over stock options. Buffett's loudly expressed view, combined with his influence, hung ominously over the heads of the stock-option lobby. The thermometer hit triple digits, and the sweating celebrities and corporate chiefs headed off in buses to go rafting and escape the heat.

Buffett himself went somewhere else shortly after he arrived, somewhere he needed help to face. Katharine Graham's condominium had been right next to Herbert Allen's, in the Wildflower group, a spot that people passed by often on their way to and from events. The Coca-Cola board would be convening later for a meeting at Allen's, since most of its members were on site. The purpose was to discuss stock options, and he would not miss this. But first:

"I was with Bill and Melinda, and we went up to the spot where Kay fell. I wasshaking, and I couldn't stop. It was like I had the chills or something. And, you know, they were probably embarrassed. I really wasn't. I was just overcome at that point."

Afterward, Buffett was able to perform his ongoing miracle of the bathtub memory, and carried on with composure. The Coca-Cola board made a decision during its meeting and announced in a press release that it would start to book the cost of its employee stock options as an expense, which was currently allowed but not required. Nobody else did that. They used an argument like the kid who tells his parents: It didn't happen, but if it did I wasn't there. And if I was there, I didn't do it; and if I did, my friends made me. Businesses said

that stock options weren't an expense; but if they were an expense, nobody knew how to calculate it. And if they could, the expense shouldn't be deducted from earnings. It should only be disclosed in a footnote. Because it might confuse investors to know just how much the executives' stock options were worth. So Coca-Cola's announcement hit corporate America like a cluster bomb, its force magnified by the venue at which the new policy was proclaimed—the Sun Valley gathering where the press had dug in outside its flowerpot barricades like an encampment. Buffett's thinly veiled hand could be seen behind this announcement. Right after Sun Valley, the Washington Post Company emulated Coca-Cola and announced that it, too, would expense stock options.[38] Buffett followed up this victory with another salvo, a *New York Times* editorial, "Who Really Cooks the Books?"[39]

"I have a proposition: Berkshire Hathaway will sell you insurance, carpeting, or any of our other products in exchange for options identical to those you grant yourselves. It'll all be cash-free. But do you really think your corporation will not have incurred a cost when you hand over the options in exchange for the carpeting?"

Strangely, no one took him up on this offer. Instead, Silicon Valley suited up for another fight in Congress. But one by one, other companies began to follow in the footsteps of Coca-Cola and the Washington Post Co., announcing that they, too, would recognize the expense of stock options on their books.

A year later, on the final Saturday morning of Sun Valley '03, Bill Gates spoke, and announced that Microsoft was discontinuing the use of stock options. It would simply pay people a different way. From now on it would use restricted stock—stock that could not be sold for some time. This move took considerable guts.

"There was a lot of pressure on Microsoft not to do it—a lot, a lot. The Silicon Valley reaction was—traitor. Microsoft had a lot of PR people around, advising him what to do. One of them told Gates it was like tossing a match into a room full of gasoline.

"And my reaction to that was, they're the ones that filled the room with gasoline."

The battle over stock options would continue formally for nearly two years, until the Financial Accounting Standards Board finally made it official. But Coca-Cola's decision had kicked over the domino in a chain of events, and Microsoft's action had broken through the wall of Silicon Valley solidarity that had given the technology industry a united lobbying voice in Washington.

Buffett's momentum as an influential statesman during this period was gathering speed. Although the estate tax was still scheduled to be repealed, he found another target in the accountants who had facilitated the accounting frauds of the past few years. If the auditors had not been sitting in the laps of the CEOs, wagging their tails, he felt, then managements would not have been allowed to loot the shareholders' pockets, transferring vast sums into their own pockets. Buffett appeared at an SEC roundtable on financial disclosure and oversight, saying that, instead of lapdogs, shareholders needed guard dogs, and directors who served on audit committees and oversaw the auditors must be "Dobermans" who "hold the auditors' feet to the fire."[40]

He said he had a short set of questions for the audit committee at Berkshire Hathaway:

—If the auditor had prepared the financial statements herself (as opposed to their being prepared by the company's management), would they have been prepared the same way?

—If the auditor were an investor, could he understand how the company had performed financially from the way the financial statements were presented and described?

—If the auditor were in charge, would the company follow the same internal audit procedures?

—Did the auditor know about anything the company had done to change the timing of when sales or costs were reported to investors?

"If auditors are put on the spot," Buffett said, *"they will do their duty. If they are not put on the spot…well, we have seen the results of that."*[41]

These simple questions were so obvious, so clearly defining of right and wrong, so self-evidently useful in sorting out the truth and preventing fraud, that at least one or two other companies with directors who had common sense and were concerned about their exposure to liability from lawsuits actually copied Buffett and began to use them.

* * *

As Buffett swung his saber with ruthless accuracy, and accountants cowered and compensation committees ducked and muttered about why he publicized their bonus-pimping instead of just shutting up, and as would-be tax-cutters tried to find even nastier terms than the ultimate pejorative, "populist," to throw at him, so encouraged was Buffett by all this newfound authority that in the spring of 2002 he outdid himself and endorsed…a mattress. He let himself be photographed lounging on the "Warren," part of the "Berkshire Collection," sold by the Omaha Bedding Co., as seen on posters of "Buffett and His Bed." Now when he went down to the Nebraska Furniture Mart during the shareholder meeting weekend, he could lie on his own bed while selling his own mattresses. *"I finally landed the only job I really wanted in life—a mattress tester,"* he said.[42]

The Sage of Omaha, at whom plutocrats railed and tax-cutters shook their fists, before whom accountants quivered and stock-option abusers fled, whom autograph-seekers followed and television lights illuminated, was at heart nothing more than a starstruck little kid, endearingly clueless in many ways about his place in the pantheon. He got excited over and over by fan letters from Z-list celebrities. Every time somebody wrote him to say he was their hero, it was like the first time. When porn star Asia Carrera called him her hero on her Web site, he was thrilled. He was thrilled to be anybody's hero, but being called a hero by a porn star who was a Mensa member had real cachet. His favorite letters were from college students, but when prisoners wrote and said he was their hero, he was proud that his reputation extended to convicts who were trying to turn around their lives. He would much rather be idolized by porn stars and college students and prisoners than by a bunch of rich businessmen.

All this basking in the limelight meant that Debbie Bosanek and Deb Ray had to guard the phone and the door with dogged vigilance. Once, an overexcited woman who flew from Japan to get his autograph arrived in the office. She was so overcome by Buffett's presence that she prostrated herself to "worship" him and had a sort of conniption on the floor. The secretaries hustled her out.

She wrote later that her doctor had given her tranquilizers, and she hoped to be allowed in Buffett's presence again. She sent photographs of herself and wrote letters.

"I *like* being worshipped," Buffett said in a plaintive tone. Nevertheless, the secretaries had their way and the woman wasn't invited back.[43]

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Oracle

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Buffett seemed to thrive like a trumpet vine as he grew larger than life. Yet he remained brilliant at balancing his priorities. As requests for his time grew, his view that commitments are sacred and his natural inclination to conserve energy saved him from succumbing to the flattery of being in demand. He did only what made sense and what he wanted to do. He never let people waste his time. If he added something to his schedule, he discarded something else. He never rushed. He always had time to work on business deals, and he always had time for the people who mattered to him. His friends could pick up the phone and call him whenever they liked. He managed this by keeping his phone calls warmhearted and short. When he was ready to stop talking, the conversation simply died. The kind of friends he had didn't abuse the privilege. While he had many fond acquaintances, he added true friends only at intervals of years.

Susie added new "friends" at intervals of days or weeks. Kathleen Cole handled a gift list that had grown to literally a thousand people. Susie called herself a "geriatric gypsy" who lived in the sky. Cole smoothed the way logistically for her to travel for months on end—visiting grandchildren, caring for the sick and dying, vacationing, traveling on foundation business, seeing Warren and the family at scheduled times. Cole packed and unpacked for her, managed her three homes and staff, juggled the NetJets timetable, made the hotel reservations, scheduled the pedicures, fended off the phone calls, and organized the latest treasures from Susie's shopping trips.

Not only was Susie a woman who couldn't say no; she was a woman who couldn't be reached. Susie was such a nomad, she was so helpless to limit her attention to anyone, and the number of people who felt they had claim to her time had grown so astoundingly, that by now even her close friends were allowed to contact her only through Kathleen.

Some who loved her grew concerned, although they rarely saw her to say so. "No one can have three or four hundred genuine friendships," argued one. She seemed to run faster all the time. "All this chasing, like chasing your tail," was another friend's reaction. "You can't have friends if you're not around." But "if you're ill," Susie said, "I'll have plenty of time for you." Some felt that her compulsion to serve and please had replaced living life in a straight line toward goals of her own. "She never spoke her own truth," said one. The metaphysically minded found it significant that her health problems arose in the throat and the gut; they associated the constant accumulation of collections and possessions and nonstop redecoration as an expression of what she was holding in. "Her life got heavier and heavier," one person said. "Stop!" another wanted to tell her. "Get some perspective and nurture yourself." But "it was as if she couldn't slow down, because if she did, something would happen."

Yet many others called her a saint, an angel, and even compared her to Mother Teresa. She gave so much of herself to so many that she struck people as fragile now; the warm woolen cloak she wore against the harshness of the world had grown lacy and thin. But isn't that the nature of a saint, mused one friend, to give of herself until nothing was left? Isn't that exactly what Mother Teresa did?[1]

Susie had foot surgery in the spring of 2003 and had to give away her beloved Manolo Blahniks.[2] While laid up, she wrote out her usual list of "nine hundred" things for Kathleen Cole to do. The second the doctor released her, she sprang out of bed and off she went. When she traveled, Susie had a decided preference for five-star service most of the time—although many people had the impression that she usually slept on the floor in a hut. It was true, however, that she sometimes traveled without complaint in circumstances that would daunt many people. Susie sometimes actually did sleep in a hut, even though she suffered from acid reflux and a tendency toward esophageal ulcers severe enough that she normally had to sleep propped up at a forty-five-degree angle.

Warren wanted to spend time with her so badly that he agreed to go to Africa to celebrate her seventieth birthday. Howie had started planning this trip, which was to take place late in the spring of 2003, eighteen months earlier. "It would have been the eighth wonder of the world to see my father in Africa," he says. The Buffetts were going to Londolozi and Phinda, two seven-star safari resorts in South Africa. Howie traveled to Africa often; in a characteristic move, his mother had gotten him interested in photographing the suffering people of the continent as well as its wild animals. For his father, he was having a *Wall Street Journal* and a *New York Times* flown in daily on the trip. "It would be three days late," Howie says, "but they would get the

papers to him. It was going to cost five hundred bucks a day, but they would hook it up so he could be online in his room and check the news. They already had the hamburger and french-fry thing down because they do that for me."[3] The Buffetts would be leaving for Africa a few weeks after their annual trip to New York, which always followed the annual shareholder meeting.

* * *

On April 1, 2003, as the shareholder meeting drew near, Berkshire announced the acquisition of a mobile-home manufacturer, Clayton Homes. This deal was like many others Berkshire was making at the time—a natural continuation of buying discount assets in the post-Enron slump.

The Clayton deal had come about because years of low interest rates had given lenders piggy banks full of cheap money, and that had turned them into pigs.[4] Banks were quick to train consumers that low interest rates meant they could buy more stuff for less cash outlay now. Those with equity in houses learned it could be used as a checking account. But whether it was credit cards, houses, or mobile homes, the lenders, in search of growth, increasingly turned to people who were the least able to repay—but wanted to participate in the American dream anyway.[5] In the case of mobile homes, the banks lent money to the manufacturers, who used it to lend money to the buyers. Historically, this process had worked, because if the mobile-home maker made bad loans, it faced the discipline of not getting paid back.

But then the mobile-home makers began to sell their loans, handing off the risk of not getting paid back. That was now somebody else's problem. The "somebody else" who had assumed the problem was an investor. In a process known as "securitization," for some years, Wall Street had neatly packaged loans like these and sold them to investors through a "collateralized debt obligation," or CDO—debt backed by the mortgages. They combined thousands of mortgage loans from all over the U.S. and sliced them into strips called "tranches." The top-tier tranches got first dibs on all the cash flow from a pool of mortgages. The next tranches had second dibs, and so forth down the line.

These tranches allowed a rating agency to assign the top AAA rating to the first-dibs tranches, AA ratings to the second-dibs tranches, and so on. The banks sold off the tranches to investors. The banks analyzed the likelihood of default using a model based on historical repayment patterns. The lending system was changing, however, so that history was becoming less relevant.

As lending standards declined, the hedge funds investing in CDOs took on more leverage, as much as $100 in debt per dollar of capital, and the quality of the CDOs—even AAA CDOs—got sludgier. Some investors did get nervous about the more obviously phony aspect of the way the market was operating and wanted to hedge their bets.[6] They tapped into a market that had developed to bet on whether loan defaults would occur: the credit default swap. If a securitization lost value because loans defaulted, the issuer of the swap would have to pay.

Protected by credit default swaps, investing in CDOs now appeared to contain no risk. "When money is free," wrote Charles Morris later, "and lending is costless and riskless, the rational lender will keep on lending until there is no one left to lend to."[7]

If it was pointed out that risk did not disappear, those who participated in the market would explain with a sigh that securitization and swap derivatives "spread" the risk to the far corners of the globe, where it would be absorbed by so many people that it could never hurt anyone.

Thus freed, the rational people of the mobile-home business had lowered down payments, making it much easier to get loans. As the real-estate market boomed, riskier types of home loans—along with commercial and business and student and other loans—spread like a cold virus in a kindergarten. These, like the mobile-home loans, were stripped, insured, "securitized," and speculated on over and over through credit default swaps. Meanwhile, other, more exotic derivatives proliferated.

In his 2002 shareholder letter, Buffett called derivatives "toxic," and said they were "time bombs" that were expanding unchecked and could cause a chain reaction of financial disaster. At the shareholder meeting that year, Charlie Munger described the accounting incentives to exaggerate profits on derivatives, and concluded, "To say derivative accounting in America is a sewer is an insult to sewage." In his 2003 letter, Buffett wrote of derivatives as "financial weapons of mass destruction."[8] So many of these deals existed, he wrote, that they had formed a daisy chain around the globe. Despite the advice of their mathematical models to buy rather than sell into a crisis, when trouble approached, investors fled their watering hole like a herd of giraffes escaping a lion. And while many people appeared to be participating in a market, in fact a handful of large financial institutions would always tend to dominate it using their leverage. They would also have other assets that seemed uncorrelated with these derivatives but which would actually move in tandem with the derivatives in a collapsing market.

General Re had a derivatives dealer, General Re Securities, which Buffett had shut down, either selling its positions or letting them run off in 2002. He had already turned Gen Re Securities into the cautionary tale of derivatives—writing at length to the shareholders about the expensive and problematic cost of shutting it down. General Re had made Buffett so angry by losing almost $8 billion by now from insurance underwriting that he could barely talk about it. The Scarlet Letter remained posted on the Berkshire Web site, though Ron Ferguson had retired, replaced by Joe Brandon and his number two, Tad Montross. General Re's competitors gleefully told clients that Buffett was going to sell the company or shut it down. Given the example of Salomon, these predictions were not spun from gossamer. Buffett had taken away part of General Re's new business after 9/11 and given it to Ajit Jain's Berkshire Re, rather than infuse more capital into General Re to shore up its balance sheet.[9] He had also started funding competitors of General Re through Jain and through Lloyd's of London. He rationalized this in various ways; he himself may not have recognized a classic pattern—when anxious, Buffett always sought escape hatches and trapdoors. He was not "punishing" General Re; rather, Buffett was instinctively hedging the risk that General Re was going to underwrite itself, his $22 billion investment, and his reputation into the ground.

It was going to take billions of profits before General Re groveled its way back into Buffett's good graces. Its derivatives business would have little to do with that, either way. The same was not true for the global economy. By a "low but not insignificant probability," Buffett said, sooner or later—he didn't know when—"derivatives could lead to a major problem." Munger was more blunt. "I'll be amazed," he said, "if we don't have some kind of significant blowup in the next five to ten years." While many safeguards had been put in place to protect investors in stock and bond markets, derivatives were lightly regulated and subject to minimal disclosure. Since the early 1980s, "deregulation" had turned the markets into the financial equivalent of a rugby scrum. The theory was that the market's forces were self-policing. (And yet, the Fed did seem to intervene at times when trouble cropped up.)

By "problem" and "blowup," Buffett and Munger meant that a bubble was brewing in this witch's cauldron of easy credit, lax regulation, and big paydays for the banks and their accomplices. They meant an unsnarlable traffic jam of claims from derivatives leading to financial-institution failures. Large losses at financial institutions could lead to a credit seizure—a global "run on the bank." In a credit seizure, lenders become afraid to make even reasonable loans, and the resulting lack of financing sends the economy spiraling downward. Credit seizures had in the past tipped the economy over the edge into depressions. But "that's not a prediction, it's a warning," said Buffett. They were giving a "mild wake-up call."

"Many people argue," wrote Buffett in 2003, "that derivatives reduce systemic problems, in that participants who can't bear certain risks are able to transfer them to stronger hands. These people believe that derivatives act to stabilize the economy, facilitate trade, and eliminate bumps for individual participants." On a micro level, Buffett wrote, these things often were true, but on a macro level, derivatives could someday cause midair collisions over Manhattan, London, Frankfurt, Hong Kong, and other parts of the globe. He and Munger believed that derivatives should be regulated, more disclosure should be required, they should be traded through a central clearinghouse, and the Federal Reserve should act as a central banker to the major investment banks, not just the commercial banks. Federal Reserve Chairman Alan Greenspan, however, defended the unregulated market and made sport of Buffett's wariness.[10] Buffett's "financial weapons of

mass destruction" was quoted everywhere, often paired with a question about whether he was overreacting.[11]

Even as early as 2002, however, the beginnings of mass destruction could be seen in the mobile-home industry. Stung by bad loans, lenders were cutting off funding or raising interest rates to prohibitive levels. Clayton was not Buffett's first foray into the mobile-home business. In late 2002, Oakwood Homes, a mobile-home manufacturer, and Conseco—a "subprime" lender that made loans to people without good enough credit ratings to get a cheaper loan—went bankrupt. Buffett knew that the first sign of a deflating credit bubble is when the bankruptcy wolf cuts a weak sheep out of the pack. He lent some money to Oakwood and made a bid on Conseco Finance, the lending arm of Conseco.[12] Cerberus Capital and two other private equity firms, which had been bidding on the property, topped his offer to buy Conseco Finance out of bankruptcy for $1.37 billion. Because they had to outbid him, Buffett's involvement had cost Cerberus, by some accounts, as much as $200 million, a fact the firm would not forget.

Buffett then joined two other funds to finance Oakwood through its bankruptcy in a deal that would make him Oakwood's largest shareholder once the mess unraveled—and that, incidentally, would help Oakwood in paying back its loans.[13]

Not long after, a group of college students from the University of Tennessee had come to hear Buffett talk in the Cloud Room on the fifteenth floor of Kiewit Plaza. He took questions for a couple of hours and expounded at length on his latest interest, the manufactured-housing industry. Al Auxier, the professor who had arranged for this audience with Buffett, had a student present a gift—*First a Dream,*[14] a memoir by Jim Clayton, who had founded Clayton Homes. Buffett called Clayton, who passed the call on to his son Kevin—who had succeeded him as CEO in 1999.[15]

Clayton Homes was the class act of the troubled manufactured-housing industry. Even though it was fundamentally sound, its lenders were behaving, as Buffett said, like Mark Twain's cat, who, having once sat on a hot stove, wouldn't sit on a cold one. Buffett felt that Clayton's problem was mainly that its financing was drying up, and with enough money it could lead the industry to a better business model. Clayton stock had fallen with the rest of the industry to as low as $9. The Claytons, like Salomon during its crisis, were starting to run out of funding sources. They were motivated to sell.

Kevin Clayton: "We might entertain an offer in the twenty-dollar range."

Buffett: "Well, it's not likely that we could ever come up with a number that would repay the sweat and time and energy that you and your father have built into this wonderful organization."

Clayton: "Our financing is getting tight. How about if you just lend to us?"

Buffett: "That doesn't work well for Berkshire Hathaway. Why don't you just throw together whatever you have lying around that tells about your company and send it to me someday whenever you have a chance?"

This classic Buffett maneuver, Casting the Line, resulted in the arrival of a massive Federal Express package the next day. The fish had snapped at the bait. The Claytons were like Z. Wayne Griffin, who had been willing to flip a coin over the phone to set a price for Blue Chip Stamps. Buffett knew the Claytons were ready to deal.

Wall Street valued Clayton at more than all of its competitors combined, and its reputation was deserved: Most of the other mobile-home manufacturers were closing retail stores and losing money. Like most cult stocks, it had a founder with a strong, charismatic personality. Jim Clayton, the company's guitar-picking chairman—a sharecropper's son, who had started the business by refurbishing and selling a single mobile home—thought of his shareholder meetings as "mini-festivals" and had once strolled up the aisle from the rear of the room toward the stage singing "Take Me Home, Country Roads." He delegated the negotiating to Kevin, who was a businessman like his father but not so much of a showman. Kevin, of course, had never heard of Buffetting.

Buffett: “$12.50 bid.”

Clayton: “You know, Warren, the board might entertain something in the high teens, more like $17 or $18 a share.”

Buffett: “$12.50 bid.”

Kevin Clayton got off the phone and went and talked to the board. Even though the stock had recently traded around nine bucks, it was a hard nut to swallow, that the company was worth only $12.50.

Clayton: “The board would consider $15.”

Buffett: “$12.50 bid.” Although not part of the official record, by this point he had almost certainly applied his other classic maneuver, the Circular Saw, slicing the floor out from under the Claytons by stressing—in a sympathetic way—how weak and vulnerable they were going to be with their funding sources drying up.

The Claytons and their board went through some further processes.

Clayton: “We’d like $13.50.”

Buffett: “$12.50 bid.”

More discussion.

Clayton: “Okay, we’ll take $12.50, on the condition that we get Berkshire stock.”

Buffett: “I’m sorry, that’s not possible. By the way, I don’t participate in auctions. If you want to sell to me, you can’t shop this bid against me to any other buyer. You have to sign an exclusive that you won’t entertain any other offers.”

The Claytons, who perhaps understood the direction that their industry was headed better than most experts did at the time, capitulated.[16]

After Buffetting the Claytons, Warren flew out to Tennessee to meet them, tour the plants, and visit with local Knoxville dignitaries. He had asked Jim Clayton to “pick and sing” with him, and they had rehearsed a couple of songs over the phone, but when the time came, “He forgot all about my guitar on the stand beside him,” wrote Clayton later. “Give our new friend Warren a microphone and he forgets all about time.”[17] Not used to being upstaged, Clayton at least had the consolation of being the guy who brought the famous Warren Buffett to Knoxville.

Yet while the local folks were mostly pleased with the deal, investors in Clayton were not. Buffett’s aura worked against him for the first time. Many of the investors knew about Buffetting, even if the Claytons didn’t, and they were in no mood to be Buffetted themselves.

After the deal was announced, shareholders began to besiege the Claytons, pleading, “You’re a great company, the best in the industry; if I’m going to own somebody in the industry, I want to own you; please don’t go away, you’ll get through this and the industry will come bouncing back again,” or threatening, “How dare you sell this company at $12.50 when it’s been as high as $16 and we’ve weathered the storm; the industry is getting ready to come back. How could you even think of selling it that cheap?” Clayton’s large investors thought Buffett was buying at the “bottom of the cycle” for mobile homes and had opportunely timed the deal to catch a bounce. At its peak in 1998, the manufactured-housing industry, using aggressive lending tactics, had shipped 373,000 homes a year. By the end of 2001, that number was down to 193,000 as the economy suffered in the wake of 9/11, and the outlook for 2003 was a measly 130,000. But surely it would turn. Buffett’s history as a savvy trader convinced them that he must have bottom-ticked the price and that they would be suckers if they sold the company now.

That was not what Buffett saw, however. He saw that the mobile-home market had backed itself into a corner by using easy financing terms to make a large percentage of its sales to people who could not afford to buy a home. Therefore the number of homes sold by the industry was not going to bounce.

But the dissidents knew how successful Clayton had been, and, given the numbers, were sure the situation would reverse. They were stewing, talking on the phone far away from Omaha.

Unperturbed by shareholder outrage, Buffett reveled in the thought of his future role as a mobile-home impresario. He kind of liked the trailer-park aspect of the thing. And buying a company from a sharecropper's son appealed to the man who ate Dilly Bars at Dairy Queen, still lusted over model-train catalogs, owned a company that made prison uniforms, and got a huge kick out of having his picture taken with the Fruit of the Loom guys. The P. T. Barnum in him was already beginning to stir. He could picture it so vividly—a giant mobile home installed in the exhibition space down in the basement of Omaha's new Qwest Convention Center at the 2004 shareholder meeting, next to the See's Candies shop maybe, or over by the area where the Justin people were selling boots. The exhibition space kept getting bigger and more dramatic, with more vendors and more merchandise for sale every year. The thought of a whole house, right there in the middle of his shareholder meeting, with a lawn even, and shareholders lined up to get into the house, gaping in awe, delighted him. How many mobile homes could you sell at a shareholder meeting? he wondered. None of the guys at Sun Valley ever sold a mobile home at their shareholder meetings.

Not only that, but Clayton was another company that married his business instincts with his urge to preach. He was going to give the bad actors of the mobile-home business hellfire and damnation. He was going to lead the mobile-home business to financial salvation.

* * *

Buffett called in Ian Jacobs, his new project guy. They had a brief conversation: *"Ian, here's a file on Clayton. It gives you all kinds of dope on foreclosures and advances. Now, I'd like you to go out and see some retail dealers, and I'd like you to do a scuttlebutt approach to learning how this damned business works. The more you can learn about the sales practices, Ian, if there's any real change going on from how it was done in the past, and who does it right, and who does it wrong, I would just soak up everything you can about what is going on and what is the logical way of conducting a business like this."*

Like Marc Hamburg, Berkshire's chief financial officer, and others before him, Ian's ability to interpret and work off directions like this with virtually no further instructions or supervision would be crucial to his career at Berkshire Hathaway. For the right kind of person it was the learning opportunity of a lifetime. Ian flew off to scuttlebutt.

By the end of the month shareholders jammed every flight into Omaha's airport and filled every hotel room in town for the 2003 shareholders' meeting, to see the man whom popular magazines had been proclaiming the "Comeback Crusader" and "The Oracle of Everything." And there was some surprising news too. The Hong Kong Stock Exchange had disclosed that Berkshire had bought a stake in PetroChina, the giant, mostly state-owned Chinese oil company. It was Buffett's first publicly acknowledged foreign investment in many years.[18] He was notoriously cautious about investing outside the U.S. and had not owned a significant position in a foreign stock since Guinness PLC in 1993.[19]

Reached by reporters hungry for an explanation of this radical departure from the past, Buffett said he knew nothing much about China and had bought it for the oil that was denominated in yuan, the Chinese currency. He was pessimistic about the dollar and optimistic about oil. Buffett had written an article for *Fortune,* "Why I'm Down On the Dollar,"[20] in which he explained that he had made significant investments in foreign currencies out of a belief that the dollar would decline in value. The reason was something called the trade deficit: Americans were buying more from other countries than they were selling, and at a fast-accelerating rate. They were paying for the difference through borrowing; foreigners were buying Treasury bonds, an

I.O.U. from the U.S. government. In short order, the country's "net worth," he said, "is being transferred abroad at an alarming rate." He posited a hypothetical example of two countries called Thriftville and the deficit-spending Squanderville: Sooner or later, the Thriftville citizens who were buying Squanderville Treasury bonds started wondering if Squanderville was good for the money. When that happened, they still traded with Squanderville—but instead of bonds, they took less risky hard assets: land, businesses, office buildings. "And eventually," wrote Buffett, "the Thrifts own all of Squanderville."

To ward off the United States becoming a version of Squanderville that was selling off pieces of itself to other countries, Buffett proposed a system in which United States companies that exported would be issued "Import Certificates"—in total about $80 billion a month. They could trade these (like the old warehouse certificates issued by Rockwood Chocolates could be traded). Anybody wanting to import into the United States would need an Import Certificate, and would have to buy from an exporter. Presto, companies would get paid a higher price to export than to sell domestically, automatically increasing exports. That, of course, would increase the importers' (foreign companies') costs. While this system could be viewed as unfriendly—a tariff, or tax on imports, which in the past had led to trade wars that depressed economies—Buffett felt that importers were going to suffer anyway as their goods became more expensive with the falling dollar. The Import Certificate idea at least used the market to allocate who was willing to suffer. Over time, demand for Import Certificates would gradually increase exports to rebalance trade and restore parity between Thriftville and Squanderville.

The plan had many nuances, but its bottom line was hallmark Buffett in many ways. The article showcased Buffett's thinking; it was a lesson on economics; it was a warning of potential catastrophe; it had a margin of safety (while it might not improve the trade balance as much as he hoped, the market mechanism meant it was unlikely to make things worse); it was a blend of a market and government solution; it was a complex, ingenious, comprehensive system—and, of course, a no-risk deal in which most parties would be at least somewhat better off than the alternative of doing nothing.

Executing it would also require a wholesale change in thinking; a coalition of politicians would have to grasp the economics and care deeply enough about them to take the considerable political risk of pushing through Buffett's idea. Moreover, the plan would attack a problem *before* it had turned into a crisis—always unlikely in Washington. The odds of anything remotely resembling a tariff being enacted into law with President Bush and free-marketeers controlling the White House were zero. Thus the Import Certificates were an elegant solution that was going absolutely nowhere. Buffett's father, however, would have been extremely proud of him.

And at least Buffett would have the honor of being the first prominent figure to go on record warning—loudly—about the risk of a falling dollar. To hedge that risk for Berkshire, he had been looking at Chinese stocks because of China's burgeoning economic power. He had found PetroChina, studied it, and gotten comfortable enough to buy it. Although he was able to purchase only $488 million, he said he wished he could have bought more. His endorsement of PetroChina sent investors over the moon. Warren Buffett had bought a foreign stock! PetroChina soared. And so did attendance at the BRK shareholders' meeting.

That year, 15,000 people came to Omaha's Woodstock for Capitalists. Buffett's $36 billion fortune was once again exceeded only by Bill Gates's. He had bounced back, almost to the top of the heap.

"What is the ideal business?" a shareholder asked when the questions began. *"The ideal business is one that earns very high returns on capital and that keeps using lots of capital at those high returns. That becomes a compounding machine,"* Buffett said. *"So if you had your choice, if you could put a hundred million dollars into a business that earns twenty percent on that capital—twenty million—ideally, it would be able to earn twenty percent on a hundred twenty million the following year and on a hundred forty-four million the following year and so on. You could keep redeploying capital at [those] same returns over time. But there are very, very, very few businesses like that…we can move that money around from those businesses to buy more businesses."*[21] This was about as clear a lesson on business and investing as he would ever give. It explained why Berkshire was structured as it was, although what it said about the stock market's long history of disappointed investors was sobering. It explained why he was always looking for new businesses to buy, and what he was planning to do with Clayton Homes. He expected to invest part of Berkshire's extra capital

in Clayton so that it could survive to take market share away from its bankrupt competitors and to buy and service their portfolios of loans.[22]

The fifty-some journalists from around the globe who had flown in to cover BRKfest were more interested in PetroChina and whether that investment signaled a new interest in foreign stocks. They got their chance to ask him and Munger about it at the press conference on Sunday. Many of them wanted to ask a version of a question that they knew would resonate with their home audiences: What stocks would you buy in Australia? Taiwan? Germany? Brazil? Russia? Buffett stressed that he was still buying mainly in the United States. Most foreign stocks, he said, were not in his circle of competence. The PetroChina stock didn't change that.

On Monday morning at the Berkshire board meeting, Buffett held a little seminar, explaining to the board the things he most wanted to teach them about this year, which consisted of the risk that the dollar would decline against foreign currencies and the problems involved in the financing of mobile homes.

Tom Murphy and Don Keough had just been voted in as directors, joining Charlie Munger, Ron Olson, Walter Scott Jr., Howie, Big Susie, and Kim Chace, the lone representative of the old Hathaway textile family. There had been some grumbling about these appointments, with shareholders making noises about cronyism, and lack of balance and diversity. But the idea of a board of directors overseeing Warren Buffett was ludicrous. A board made up of Barbie dolls would do just as well. When the Berkshire board met, it was to listen to Buffett teach, just as every occasion—from a party to a luncheon to a sing-along with Jim Clayton—turned into an opportunity for Buffett to figuratively stand at the blackboard, fingers dusty with chalk.

The reason shareholders cared about Berkshire corporate governance was not oversight, however, but the question of who would succeed Buffett, who was now almost seventy-three. He had always said there was a "name in an envelope" crowning his successor. But he would not acquiesce to the pressure to reveal the name, because that would tie his hands to one person, and events could change. It would also effectively begin the transition, and he certainly wasn't ready for that.

There was, of course, a guessing game about who this person could possibly be. Most of the managers of the various companies Buffett bought seemed unlikely candidates. Buffett liked managers like Mrs. B—people who shunned the spotlight, who worked as tirelessly as a human anthill—but these people did not manage capital. Where was the capital allocator who could run this thing? The right person had to be willing to sit behind a desk reading financial reports all day long, yet excel at dealing with people in order to retain a bunch of managers who wished they were still working for Warren Buffett.

"I have this complicated procedure I go through every morning," Buffett said, *"which is to look in the mirror and decide what I'm going to do. And I feel at that point, everybody's had their say."*[23] The next CEO would have to be a superb leader—and yet oversized egos need not apply for the job.

As the board meeting ended on Monday, the town emptied of shareholders, and the Buffett family headed to New York for their annual trip. Every year they traditionally attended a dinner with the East Coast members of the Buffett Group, held at Sandy and Ruth Gottesman's house, where Susie would pile into Warren's lap and run her fingers through his hair, and Warren would gaze enraptured at his wife. But this year it seemed obvious that Susie wasn't feeling well. At lunch one day, dressed beautifully in a light wool skirt suit with a wraparound shawl, she ate only a tiny piece of chicken and some carrots with a glass of milk. She said she was fine but wasn't that convincing.

Within two weeks, shortly before they were to have left for the trip to Africa that she was so excited about, she was admitted to the hospital with another bowel obstruction. There, the doctors found that she was anemic and had an esophageal ulcer. In a huge disappointment for the family—at least some in the family—the Africa trip had to be postponed by a year, to the following spring. Even Warren was dismayed, because he knew how much the trip meant to Susie. But, asked if he was worried, he said, "Oh, no, it would bother Susie if she thought I was worrying about her. She wants to worry about me, not the other way around. She's a lot like Astrid in that sense. I'm not a worrier in general, y'know."

Although the reason for the cancelation was regrettable, it turned out to be a good thing that Buffett was

around that June. As the meeting at which the Clayton shareholders would vote on the merger approached, opposition to the deal swelled like a blister chafed by shareholders' resistance to the price—even to the very idea of selling to Berkshire. Rumors started that another bidder would come in.[24] Investors assumed that Buffett was going to make a lot of money, because with Berkshire's hoard of capital and good credit rating, he could fund the Claytons, more or less forever, on terms more attractive than anyone except a sovereign government. It seemed almost unfair. Some of the shareholders were convinced that the Claytons had sold out to Buffett too cheap in order to keep their jobs and benefit themselves or to get access to that war chest. The potential conflict of interest when the management of a public company wanted to sell the company to Berkshire was about to set off a war.

William Gray of Orbis Investment Management, for one, thought the Claytons were heisting the company on behalf of Buffett. He filed a petition with the SEC and a lawsuit with the Chancery Court in Delaware, where Clayton was incorporated; his argument was that the Claytons were not trying to get the best deal for shareholders, because they had signed the exclusive clause preventing them from entertaining competing offers. He sought a ruling that they not be allowed to vote their shares on the deal and wanted a special shareholder meeting called to replace the Clayton board.[25] After all, said one investor, "if Buffett bids for something, it must by definition be undervalued."[26]

Buffett's reputation, which had been an asset for so many years, had begun to work against him in certain other ways as well. He was such a magnet for publicity that anyone who wanted publicity for themselves or their cause could hijack his shareholder meeting or misappropriate his fame to get it. And so it happened that just before the shareholder meeting and around the time that Berkshire had announced the Clayton deal, Doris Christopher, CEO of The Pampered Chef, called him with just such a problem.

The Pampered Chef sold kitchenware at home parties through independent salespeople, mostly women. After Berkshire's purchase of the company, members of pro-life organizations had begun boycotting their parties. Berkshire's position was that it made no donations to pro-choice or reproductive rights groups, but only acted as a conduit for its shareholders, who through the charitable-contributions program had the right to allocate $18 per share to the charity of their choice. Of the $197 million that had been donated to nonprofit groups of all types, the largest number of recipients were schools and churches, many of them Catholic, and most of the money went to causes not related to abortion. But a significant amount of money had gone to reproductive-rights organizations.[27] As it happened, Warren and Susie's personal share of the contributions—about $9 million in 2002—went to the Buffett Foundation, where it mostly funded reproductive rights. That Berkshire's money should be funneled this way was what was bothering the pro-life groups. The argument that the contributions were not Berkshire's fell on deaf ears.[28] In 2002, Buffett had tried to square things with one of these groups by showing them how much money went to causes other than family planning. He got a reply from the president of Life Decisions International, saying, "Even if only $1.00 went to Planned Parenthood and $1 billion was donated to pro-life organizations, the former gift would still land Berkshire Hathaway on *The Boycott List.*"[29] If the price of filling a parking meter was enough to attract a boycott, that was a pretty clear sign that Berkshire would find little room for compromise.

Doris Christopher had tried to mediate, telling her people that while she personally did not agree with Buffett, "it is not my place to ask or to judge" how he donated money. Fewer than a thousand of the 70,000 Pampered Chef consultants were petitioning Christopher over this issue.[30] Still, the boycott was affecting business and hurting the people involved. They were being intimidated by pro-life picketers who were now making appearances at the hosts' houses during sales parties. Christopher called Buffett to tell him the disruption to her business was getting worse.

"She didn't ask me, but I could tell she was hoping I would cancel the program. And you know, I'll do it. I thought we could tough it through, but we can't. It's hurting too many people that I don't want to hurt. It hurts Doris, and these are her flock. They're getting injured, and they're innocent. They're in her office, crying."

In late June, Buffett called Allen Greenberg, his former son-in-law and executive director of the Buffett

Foundation, into his office and explained that he had talked to Charlie Munger. Rather than sell The Pampered Chef—one of the options—they had decided to shut down the charitable-contributions program. Greenberg was astounded. The year before, ninety-seven percent of shareholders had defeated a resolution by a pro-life shareholder to cancel the program. Combing his hands through his dark wavy hair, he paced back and forth, pointing out that the contributions came from individuals, not the corporation. People could still donate on their own. Shutting down the program would accomplish nothing. But Buffett had made up his mind.

Greenberg returned to his office to draft a press release that went out to the news wires right before Sun Valley, over the Fourth of July weekend. The phone rang and rang for several days; the secretaries grew weary from ferrying messages up and down the hall. Life Decisions almost instantly put out its own release dropping Berkshire from its boycott list.

But Buffett's friends, no matter what their views on abortion, mostly reacted the same way: They were stunned. Some were angry. "I was surprised that he gave in on that," one said. "It didn't sound like him to back down so easily. Warren is such a principled person. Was it such a big deal that it had to be done?" asked another.[31]

Though other people in his position might have chosen to stand up to the right-to-lifers, Buffett said he was worried that such a stance might put The Pampered Chef consultants at risk. He didn't say it, but implicitly, not just their livelihoods but their physical welfare was at stake. Buffett himself was a very big target, not just Sid the Dry Cleaner down on the corner whom nobody had ever heard of; taking a stand might make Berkshire Hathaway, as well as him, a symbol of pro-choice defiance, which was dangerous.[32] He shrank from confrontation anyway; this was something he simply could not do.

Afterward, he never showed any sign of rancor over the criticism or the pro-life victory laps. You can always tell them to go to hell tomorrow, as Murph said. There was never any need to do it today. Over the years he had saved himself a lot of trouble by following this advice. Almost as soon as he got past The Pampered Chef sidebar, he simply stopped thinking about it.

Alas, this did not solve the other problem caused by being Warren Buffett instead of Sid the Dry Cleaner. Shareholders at Clayton Homes had begun weighing in for and against the Berkshire bid as the July 16 meeting to vote on the deal approached. Prices of peer companies had started to float upward. Lenders suddenly became more lenient. The argument about the "bottom of the cycle" gained currency. About thirteen percent of the investors, including respected money managers like Brandywine Asset Management, Schneider Capital, and CalPERS, the California Public Employees' Retirement System, said publicly that they would oppose the deal. Kevin Clayton trotted around the country, meeting with investors and pitching the merger, while Orbis and other naysayers worked the phones and the press. By then Berkshire had lent $360 million to Clayton to finance its stopgap needs. Buffett put out a news release in which he said that he would not raise his price "now or in the future." If the deal fell through, he would walk away. He also used the release to give an economic forecast for the industry, saying no turnaround was coming.[33]

Before Buffett bid, nobody had wanted Clayton. Despite a faithful following of hard-core shareholders, it was like a good-looking girl who couldn't get a partner at the dance. Now she was on Warren Buffett's arm, headed to the middle of the floor as the fiddlers and pickers began the schottische. The former wallflower suddenly looked prettier to others. At midnight two days before the shareholder meeting, Cerberus Capital, which had outbid Buffett on Conseco's lending business, faxed a letter to Clayton suggesting that it was likely to make a higher bid. When it came to money, Buffett's attitude was defiant. "Okay, let them," he said. He was certain that Clayton without Berkshire wasn't worth more than $12.50 a share.

And, indeed, by the day of the meeting, exactly zero other bidders had emerged for Clayton Homes. It was still a toss-up whether the Claytons had enough votes to win approval of the sale, however. Jim Clayton faced an hour-long barrage of questions from agitated shareholders who had packed the auditorium where the meeting was held. Manufactured-housing stocks had been on a tear since the deal was announced, making the $12.50 price look even worse by comparison. Some shareholders wanted Cerberus to have a chance to

make its offer, even though it had had two months to prepare a bid and there was no way to be certain that Cerberus was serious about buying Clayton—as opposed to showing up as a spoiler to Buffett by coming in at the last minute.

The Claytons were caught in a terrible bind. If the vote failed, which it very well might do—for one large shareholder, Fidelity Investments, had announced its intention to change its vote from yes to no—there might be no deal, and Clayton could get sued for having signed the agreement not to consider other bids. If the vote passed and Clayton sold to Berkshire, Clayton could get sued for ignoring another, possibly higher bid.

Kevin Clayton left the meeting to call Buffett and ask him to agree to a delay on the vote, to allow Cerberus time to make a bid. Buffett said okay—if they would pay Berkshire $5 million for the delay. Clayton agreed to Buffett's price, reconvened the meeting, and adjourned it before taking a vote.[34]

By now the business press was covering the story as a David and Goliath set piece in which a gang of tiny Davids—the hedge funds that were fighting the deal—tried to defeat the greedy Claytons and the colossus Buffett. Journalists are automatic skeptics of establishment figures; hedge fund managers, by and large, are anti-establishment by nature; they had learned to play the press for mutual benefit like a virtuoso with his Stradivarius. The press turned on the mighty Buffett. If he was buying something, the price must be too cheap.

The test of whether Buffett was stealing Clayton would be whether another bidder could be found. A week later, when seventy accountants, lawyers, and financial specialists from Cerberus Capital and three other firms—the Blackstone Group, Credit Suisse, and Texas Pacific Group—descended on Knoxville, Tennessee, led by the Cerberus chairman, former Vice President Dan Quayle, the clock began to tick toward the moment of truth. Clayton housed them in its fanciest mobile homes, adjoining the headquarters. Most of the team toured Clayton's plants and pored through rooms full of documents, focusing increasingly on the huge maw of the mortgage unit and the way it sucked down capital.[35] Quayle roamed the hallways shaking hands, repeating that Cerberus was a "family-friendly company."[36]

While Cerberus and the other firms were deliberating, the Denver Area Meat Cutters and Employers Pension Plan filed a lawsuit against Clayton, charging it with "self-dealing, abusive control, and lack of candor."[37] Buffett felt he was being blackmailed. The Meat-Cutters' Union's lawsuit was orchestrated by Darren Robbins, a partner of Milberg Weiss, a law firm that specialized in representing investors in class-action lawsuits. "It's a well-known fact that they committed a fraud," said Robbins.[38] Twenty-two plaintiff's lawyers, assistants, and researchers descended upon Knoxville. Plaintiff's lawyers do not stay in mobile homes. They reportedly bunkered into nine luxury condominiums downtown, ready for a six-month battle.[39]

After a week of their own digging, the Cerberus people returned to New York and faxed a sheet labeled "for discussion purposes only": "Clayton Recapitalization—Sources & Uses." The sheet was not an offer, but it contained a price: $14 a share. The Claytons' first impression was that Cerberus had beaten Buffett's offer by a healthy margin. However, a closer look revealed that Cerberus planned to give shareholders only $755 million in cash, whereas Buffett's $1.7 billion was an all-cash deal. Under the Cerberus deal, the outside shareholders would get $9 a share out of the $14 total. The balance would be paid in a "recapitalized" stock.

The $9 a share, however, would actually be paid by Clayton itself. Cerberus wasn't going to invest any money. Clayton would have to borrow $500 million and sell off $650 million of assets.[40]

This was a typical leveraged-buyout proposal, in which a company's assets are sold and it takes on debt in order to finance its own sale. The recapitalized stock, nominally worth $5, would consist of a piece of a financial company that had piled additional debt on top of a shrunken capital base. Debt was the blood coursing through the veins of mobile-home makers; without it they were dead. And lenders were already shying away from the business. Why would they lend to a company whose ability to repay them had just been gutted? The Cerberus people obviously knew this; they had delivered a proposal that was the best that financial engineering could do. The Claytons called Cerberus to discuss it and, without any rancor, they

agreed to go their separate ways.

But CNBC and the financial press were now portraying Buffett as a ruthless financier who had connived with the Claytons to buy the company cheap. The way that the Clayton deal was playing out in the media, and the manner in which Buffett's reputation had compounded to the point where it worked against him, represented a dramatic reversal of the image of the wise, grandfatherly man who attracted legions of would-be coattail-riders. The blister had popped; the opposition to the Clayton merger showed that large investors were no longer coattail-riding, waiting for his reputation to take prices higher; they wanted to use his reputation against him, to *block* him.

Buffett, however, had never really specialized in buying things that other people wanted at a price that was too cheap. Instead, he bought things that other people didn't want and thought that they were better off without. True, they had often been mistaken about that. Increasingly, since the *Buffalo Evening News,* however, Berkshire had bought properties that most people really *were* better off without. There weren't many companies that had the balance sheet to look a union in the eye and stare them down, that had the financial wherewithal to finance Clayton's debt, that could make decisions on deals like Long-Term Capital in an hour rather than a week. Berkshire could do all those things, and more. Many of the companies Berkshire was now buying were businesses like NetJets, built by entrepreneurs who wanted to sell to a buyer who would treat their babies well, and who trusted Berkshire to behave honestly.[41] Buffett's real brilliance was not just to spot bargains (though he certainly had done plenty of that) but in having created, over many years, a company that made bargains out of fairly priced businesses.

On what turned out to be Susie Jr.'s fiftieth birthday, the adjourned Clayton shareholder meeting finally reconvened. After four months, no other bidder had come forward, and Cerberus had declined to make a deal. In the end, 52.3 percent of the shareholders voted for the Berkshire deal, barely enough. Excluding the Claytons, the other shareholders had voted no by a margin of two to one. Buffett sat by the phone until he got the news. Then he took his daughter out and gave her the gift he had selected for her with the help of Susan Jacques at Borsheim's—an eternity ring crowned with a large pink heart-shaped diamond—and her latest million-dollar birthday gift. The supposedly cold-blooded financier was a soft-hearted sentimentalist when it came to his daughter, with whom he had an increasingly close and even dependent relationship. He had been carrying this ring around for a couple of weeks, pulling it out to look at it and getting teary-eyed with anticipation of his daughter's reaction. When Susie Jr. saw the ring, she threw her arms around him and cried.

While they were hugging, Milberg Weiss and Orbis's William Gray were already starting to try to undo the vote. Gray challenged the election and won the right to audit the ballots. The Delaware Chancery Court upheld the vote. Handed defeat, Orbis then joined with Milberg Weiss to ask Tennessee Blount County Circuit Court Judge Dale Young to restrain the deal from being consummated. Judge Young instead said the merger should proceed. With Milberg Weiss barking at the door, the Claytons wasted no time. On August 7, the day the merger was scheduled to close, Clayton's Delaware attorneys were waiting at the door of the Secretary of State at daybreak to file the paperwork to certify the merger. By seven-thirty a.m. it was done.[42]

As soon as the merger was effective, Milberg Weiss and Orbis rushed to file an appeal with the Tennessee Court of Appeals to overrule Judge Young's decision of the day before. The next day, the Tennessee Court of Appeals concurred and temporarily blocked the merger, which had already closed. That prevented Berkshire from paying out the proceeds. The Court of Appeals gave the lower court a homework assignment, asking it to rule on a number of issues within two weeks. Clayton started working to fulfill Milberg Weiss's eighteen-page document request. Lawyers and company people were working almost around the clock.

Kevin Clayton and his wife had just had a baby; she was colicky from a protein allergy. "It took twenty-seven formulas before we found one from London that would work," says Clayton. "Plus, I got shingles right in the middle of it, from stress. I called up my dad and said, 'Dad, this is rough.' And he said, 'Well, son, I had paralysis on the left side of my face when I was your age from stress.' Then I called up Warren, and he said, 'Well, Kevin, when I was younger, I lost a lot of my hair from stress.' I got no sympathy from either one of them."

On August 18, Judge Young ordered a trial before a jury. Clayton immediately appealed.

Clayton stock had ceased trading weeks ago, but Berkshire could not pay out the merger proceeds, since the deal marinated in the galley of the appellate court. Forty thousand shareholders awaited their money from Berkshire Hathaway. All $1.7 billion sat in the bank, earning interest for Berkshire.

Buffett got a fax from a couple who were being foreclosed out of their home. They needed the money from the Clayton stock to pay their mortgage. Pay what you can, he told the couple, and just explain the situation. Probably that will be enough to avoid foreclosure.

"It's the Perils of Pauline," he said.

The stalemate dragged on for nearly two weeks. Finally, as the calendar turned to September, the court found "not a scintilla of evidence" that the Claytons had manipulated the voting process. Six days later, Milberg Weiss filed an appeal with the Tennessee Supreme Court. Buffett was incredulous—or, rather, he would have been incredulous had it been any law firm but Milberg Weiss. They were still seeking to have the merger overturned. That was not going to result in a big fat check for the law firm. How did they expect to get paid? The photocopy machines were running late at night at Clayton's law firm, kachunking forth documents and legal bills. Buffett reasoned that Milberg Weiss must be trying to make such a nuisance of itself that Clayton would simply pay it to go away. He talked to Kevin Clayton. Never, Clayton vowed.[43]

Buffett mused about the historic position of the Tennessee Supreme Court, which potentially could become the first court in the history of the United States to unwind a merger that was already complete. The court, evidently finding itself of the same mind, dismissed the appeal.

Clayton's insurance company, St. Paul, wanted to settle the remaining shareholder suit filed by Milberg Weiss for $5 million. The Claytons and Buffett hated the thought of paying people they considered stickup artists and ambulance chasers because so little of the money would go to the shareholders—maybe a nickel a share. The lawyers would get most of the money. However, the insurer argued that unless they settled, the legal bills would cost the company even more. Feeling ransomed, they went ahead and paid. And thus ended the battle to buy Clayton Homes.

But soon it became clear that sales of manufactured housing were not going to turn around.[44] Buffett had not bought just as the bounce was coming back. In fact, as Ian Jacobs had flown back to report, the downward spiral in manufactured housing had just begun. The price that had looked so cheap was barely reasonable. To help the deal's economics, Buffett had Kevin Clayton begin buying portfolios of distressed loans. It was going to take some mighty fine footwork to make the Clayton deal work out.

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Buffetted

Omaha • Summer–Fall 2003

In September, Buffett was in a state of high excitement. *Fortune* magazine had named him the most powerful person in business. To many oohs and aahs, he had recently auctioned his battered wallet with a stock tip inside for $210,000 to benefit Girls Inc., a nonprofit cause of Susie Jr.'s. Next, he had auctioned himself off on eBay—or, rather, lunch for eight people with him—to benefit Glide Memorial Church in San Francisco, Susie's main cause. Glide gave HIV tests during services and held funerals and memorials for gay men whose families and churches had rejected them. The Reverend Cecil Williams's watchword was "unconditional love," a term that Susie had adopted like a mantra and even Warren now used from time to

time. At Glide, everyone was welcome: hookers, junkies, winos, drifters.[1] According to the highest of fifty bidders on eBay, two hours of Buffett's time and a lunch for eight at Michael's were worth $250,100—that is, more than the stock tip in his wallet. Within days, an artist's rendering of him dressed in a toga as if descended from Mount Olympus would appear in *Forbes* to illustrate a list of "Best-Dressed Billionaires." However limited the competition for that list (although billionaires were becoming pretty commonplace these days), Buffett could never have been considered a contender for best-dressed anything, were he not so celebrated and popular that pictures of him sold magazines. Not only that, the two Susies were scheduled to speak on philanthropy at *Fortune*'s Most Powerful Women Summit the following week, at the beginning of October, before an audience made up of many of the most important women in America, including CEOs, entrepreneurs, and women of stature in many different fields. Buffett was elated at this coronation of his wife and daughter, particularly that they would be making the presentation together.

On the Friday afternoon before the conference began, Susie called Warren to tell him that she was going to be arriving a day late, because on Monday she was having a biopsy. She had seen her periodontist in June, an appointment that had been delayed from May by her earlier bowel obstructions, esophageal ulcer, and and anemia. The periodontist had found some pin-dot-size spots on the floor of her mouth and referred her to a specialist. Two months had passed as Susie tried to work around the specialist's schedule and her own complicated travel itinerary to arrange an appointment. Once the appointment was finally booked, she had almost canceled it in favor of a visit to the Gates Foundation.

"*No.* No, no, no, no, no. You're not canceling," said Kathleen Cole. It was rare for Cole to contradict her friend and boss outright. But now she insisted, "You have to go."[2]

At the appointment, Dr. Deborah Greenspan had felt around Susie's neck and found swollen lymph nodes on one side. She insisted that Susie see yet another specialist, Dr. Brian Schmidt, the following Monday for a biopsy. Susie seemed unconcerned about the biopsy. She wanted to delay it in order to avoid missing any of the *Fortune* conference. "I have to do this," she told Kathleen, referring to her appearance there. The specialist, Dr. Schmidt, refused to postpone the procedure, however.[3]

Buffett absorbed the news quietly, but was deeply shaken. A few hours after Susie called, he carried on a long, rambling phone conversation with someone else, filling the unrelenting minutes after he got home from work. Seconds before his bridge game was due to begin, he said casually, but in a low, serious voice, Oh, by the way, Susie's having a biopsy on Monday.

For what?! asked his shocked listener.

Some kind of thing in her mouth, he said. Well, I'll talk to you later. Then he hung up.

Susie had the biopsy. She went and spoke at the conference, then flew east to Decatur to visit Howie on the farm, see her grandkids, and ride on the combine for the harvest before returning to San Francisco. With hindsight, Howie would think to himself, Gee, she'd always talked about coming out for the harvest, but she'd never done it before.[4] At the time, however, he noticed nothing unusual, for she behaved as she always did.[5]

Warren kept his face glued to the computer screen, whether surfing the news or playing bridge or helicopter. His rising anxiety showed in the usual manner; he repeated the same questions and statements about a subject over and over while denying—if asked—that he was concerned.

On Friday, Susie and Kathleen Cole went to USC Medical Center to learn the biopsy results. Susie continued to seem oblivious to the potential seriousness of the situation. When they arrived at Dr. Schmidt's office, Susie said to Kathleen, "You're so nervous. Why are you so nervous?" Kathleen thought, "Oh, my gosh, doesn't she get that this could be bad news?" When they met with the doctor, he told Susie that she had stage-three oral cancer. She was stunned by the diagnosis. "It was like somebody shot a thunderbolt through her," says Cole. She had apparently not even considered this as a possibility.[6]

Susie had her moment of tears. Then, characteristically, by the time they got into the car she had pulled herself together and started chicken-souping everybody but herself. She called Warren. He did not say much. She called Susie Jr. and told her, "Call your dad. He's going to be a mess." Then she went home and talked to Warren again and to Susie Jr., Howie, and Peter.[7] By then, Susie Jr. had already gone to the Internet to research.[8] She called her father and said, "Don't read the oral cancer Web site."

Oral cancer strikes only 34,000 people a year but kills more than 8,000. An often painless but fast-growing cancer, it is more deadly than melanoma, brain cancer, liver cancer, cervical cancer, or Hodgkin's disease;[9] it is particularly dangerous because it's usually discovered only after it has spread to the lymph nodes of the neck, at which point the primary tumor may have invaded surrounding tissue and potentially migrated to other organs. A person with oral cancer has an especially high risk of developing a second primary tumor. Surviving a first bout with the disease carries a twentyfold greater risk of recurrence.

At least ninety percent of those diagnosed with oral cancer are longtime smokers or use smokeless tobacco. Alcohol use combined with smoking raises the risk even more. Susie Buffett never smoked or drank. She had no significant risk factors. The fact that her cancer was stage three meant that it had already spread to at least one lymph node but probably not to more distant sites.

Susie returned to her apartment overlooking the Golden Gate Bridge, every wall covered with a souvenir of a trip, a gift from a friend, or a piece of art that meant something to her. The woman who never let go of anything or anybody started telling people, "I've had a wonderful life. My kids are grown. I've lived to see my grandkids. I love my life, but I've done my job and I'm not really needed anymore."

"If it were up to me," she told Kathleen, "I would go off to a villa in Italy in privacy and just die." She was far more fearful of a protracted, painful death than of dying itself. But if she simply gave up, she would be abandoning people who were important to her, people who had been part of her life for decades. It was really Warren for whom she was going to have the surgery. However, she told Kathleen and her friend Ron Parks, among others, that she hadn't decided whether to do the follow-up radiation that was a standard part of the treatment to reduce the risk of a recurrence, which was high. For some reason, perhaps because she was in a state of shock, she didn't seem to grasp how important it was.[10]

The following morning, as she and Kathleen were making plans for what was to come, Susie unaccountably refused to authorize Kathleen to pay for the equipment that would be needed to make her apartment accessible postsurgery. Kathleen needed to get elevator chairs to carry her up all the flights of stairs to her apartment at the top of the building. Susie would not hear of it. Kathleen decided that Susie was in some kind of shock or denial and finally called Susie Jr., who simply said to ignore her mother and make the necessary arrangements.

Meanwhile, a stunned Warren paced through his routine, as he invariably did in a crisis. He escorted a very upset Astrid to the Nebraska football game in Lincoln. He flew out to San Francisco the following morning, where he learned that Susie needed major surgery within the next few weeks. She had a fifty percent chance of surviving for five years. A large portion of her jaw and most or all of her teeth might be removed. For more than a month after the surgery, she would be fed through a tube in her nose that led directly into her stomach. She would not be able to talk during that period and the surgery was potentially disfiguring. Susie told Warren little more; she did say she was worried that she would frighten her own grandchildren. They decided she would fly to New York City for a second opinion at Memorial Sloan-Kettering Cancer Center the following week, although this was largely a formality.

Once back in Omaha, Warren filled his every conscious moment with phone conversations, Internet bridge games, work, and strategizing how to handle an upcoming meeting with Karen Elliott House, publisher of the *Wall Street Journal.* Buffett by now had had several run-ins with the *Journal* over its coverage of him, beginning with the 1992 story that called him a "tough, polished man" beneath the "mask" of a folksy sage. House was arriving perhaps on a repair mission, perhaps to sound him out about buying the financially troubled paper. But his mind never really left Susie; he touched on her in brief cloudbursts of conversation. He had decided to spend every weekend in San Francisco with her during the coming months. Although he

didn't really know what he was letting himself in for, he wanted to give her in some fashion what he knew she would have given him, had their situations been reversed. He felt certain, he said, she needed his presence. For sure, he was going to need hers.

The meeting with House proved uneventful; nobody got strangled, nor did Buffett buy the paper. For the rest of the week he started every morning in a thunderhead mood—a sure sign that he was not sleeping well—then brightened through the course of the day. Other than Debbie Bosanek and a few other people, nobody at Berkshire Hathaway headquarters knew the reason.

During that week he rarely left his corner of the floor next to the Xerox room and the two file rooms, spending much of his time on the phone with Susie. Although they talked for hours, she was vague about the ordeal that she faced. Initially, she herself had not grasped the extensiveness of the surgery, which might also involve a bone graft taken from her leg. The surgeons were not sure how much of her face would be involved, although they thought they could spare her tongue. Most devastating to her was that she would probably not be able to sing again. She had discussed the surgery with her former son-in-law, Allen Greenberg, who had a longtime familiarity with her medical problems, having taken his friend, boss, and former mother-in-law to the emergency room several times over the years. Sensitive to the way Buffett recoiled at anything to do with illness, Greenberg did not even mention Susie when he went to Buffett's office to update him on the foundation's projects.

Yet while Warren didn't want to know much, he talked and talked about what he did know. *"They've got a team of five guys, and it's at least a ten-hour deal. She's got the best care in the world. She got a letter from Howie that—no mother could get a better letter. She's got a lot going for her. But it'll be a tough ordeal. They've given her a lot of information, and she knows I don't want the details. She's told me what she thinks I can handle. I'm sure the doctors think it's crazy that I'm not talking to them directly. But I can't take that, so she's sort of told me the key elements."*

A few days later Susie flew into Omaha to pick up Susie Jr., who was going to accompany her to Memorial Sloan-Kettering in New York for her second opinion. Tests there gave them the good news that there was no indication that the cancer had spread, and they flew back to Omaha, where Big Susie was going to spend the weekend. But while there she had another episode of crippling pain from her abdominal adhesions. This attack, coming less than five months after the obstruction that had prevented the Buffetts from traveling to Africa the previous May, was disturbing. She had to stay over at Susie Jr.'s, but for once heavy doses of painkillers enabled her to avoid hospitalization, which had always been required before.

Haggard and pasty-faced, Buffett dragged himself to the office, then left in the middle of the week for a Coca-Cola board meeting in Atlanta. By the time he returned, Susie had begun to recover and went to pay a visit to Astrid. When she saw Susie, Astrid simply broke down in sobs, and, once again, it was Susie's turn to comfort someone else.

After the weekend, when Susie flew back to San Francisco, Buffett's mood turned dark again, his voice went gravelly, and he was clearly having trouble sleeping. The biennial Buffett Group meeting, which was being held a few days later, weighed on his mind. Susie's doctors didn't want her to travel to the meeting, which was taking place in San Diego. Thus, for the first time since 1969, Warren would be going alone. Not only would Susie not be there, but his friend Larry Tisch, an early partner and the head of Loews Corporation, also would be absent, because he was too ill with advanced stomach cancer to attend.

Buffett was obviously preoccupied with thoughts of what it would be like to go to this meeting without Susie. News of her illness was sure to cause a stir simply because many of the people attending were finding out about it shortly before the meeting. For five days he was going to have to answer questions about her, accept sympathy, and keep his emotions in check. He would have to perform his role of master of ceremonies, maintaining interest in what was going on without striking any false notes of excessive good cheer. Buffett had mastered the art of compartmentalizing to such a degree that these skills were second nature to him—but under the circumstances, it was still going to be a hell of a performance. Once he was back in his hotel room at the end of the evening, he would be alone in the dark with his thoughts and his dreams.

"I dream a lot," he said the day before leaving for San Diego, and the dreams could be disturbing. *"I have a multiplex going on in there. It's a full-time occupation."* That evening he ordered a club sandwich for dinner and ate with a visitor in his office, wanting to fill the time until Sharon took over to distract him with a bridge game, then conversation till all hours. Now he sat talking, at first struggling through a brittle discussion about business and politics. Eventually, the conversation wound its way to what had been bubbling beneath the surface for days: the surgery that would take place shortly after the meeting ended.

For the briefest fraction of a second, a look of surprise flickered across his face. Then his face began to crumple, and collapsed into his hands. His shoulders heaved and rocked and he slid forward in his chair, like a tower crumbling in an earthquake. Dry, desolate, heaving sobs, like silent screams, came gasping out of him. There wasn't any consolation for this.

Gradually the wracking sobs spent themselves. Then he began to talk about Susie. He cried quietly, off and on, for about two hours. He was afraid of what she was going to have to suffer through. She was stronger than he; his main concern was the pain she would face. He was even more worried that she might accept death as a natural thing and not fight it as he would. He was terrified of losing her. Assumptions that were part of the very core of his being had been upended. He had always assumed that he would never be alone because she would outlive him. He had always assumed that he could count on her wisdom and judgment to handle any life-and-death decisions that might have to be made. He had always assumed that she would run the foundation after he was gone. She would keep peace within the family if he was not there; she would see to it that Astrid was taken care of; she would resolve any conflicts, soothe any bad feelings. She would handle his funeral and shape the way in which everyone would remember him. Above all, he had been counting on Susie to be there for him at the end, to sit beside him and hold his hand and calm his terror and ease his suffering when death was approaching, just as she had done for so many others. For the first time he had to contemplate that it might not work out this way. But these thoughts were so unbearable that he could only glance at them before shutting them down. He was sure that her doctors would take care of her and that she would live. By the time he left the office for his bridge game, he was in a somber mood but calm and collected.

The next morning he flew to San Diego. At the Buffett Group conference, he struck people as subdued but not despondent. He presided over three days of meetings that included a dinner at the Gateses' house, a talk by Bill Ruane about his project to improve the schools in Harlem, Jack Byrne on management succession, and Charlie Munger on the life of Andrew Carnegie, the great industrialist, who had maintained that he who dies rich dies disgraced. Howie Buffett dropped in to describe the motivations behind the photographs in his book, *Tapestry of Life,* which showed scenes of human suffering in impoverished Africa; Geoffrey Cowan, dean of the Annenberg School for Communications at USC, gave a speech entitled "From Young Idealists to Old Bureaucrats," about the aging of the so-called Silent Generation, those born in the 1930s and early '40s, which comprised most of those who were in the room.[11]

While Warren was in San Diego, Astrid was at the Canyon Ranch spa in Tucson, where he had sent her because she was so upset about Susie that he wanted her to get away to a place where she might be able to relax. She had never been to a spa before and resisted at first. Pampering herself at a swanky hacienda was like attempting a triple lutz to a woman who had never so much as treated herself to a pedicure. Astrid had no vanity whatsoever; she packed just a few T-shirts for her week at the famous resort. Handed a turkey wrap for lunch on arrival, out of habit she began to badger the staff about recycling and Styrofoam packaging. At the reception area, a nurse took her into a small office to design a spa and wellness regime for her. When asked how she was feeling and what concerns she had, Astrid replied that her concern was her friend Susie. The nurse apparently recognized that she was dealing with one of those women who focus on everybody else at the expense of their own needs. Gently, she steered Astrid toward relaxing treatments, like "healing touch." Astrid took a couple of yoga classes, went on a bird walk, took some cooking classes, got a facial, had a couple of massages, and learned some golf. She groused about being taken care of but, to her surprise, managed to survive it, and found that some aspects of it were not so terrible.

Buffett flew from the meeting in San Diego to San Francisco the day before Susie's surgery. He had been scheduled to attend a NetJets marketing event that day and had made up his mind to go, but Susie Jr., who recognized this as a form of denial, told him he must come to San Francisco instead. Reluctantly, therefore,

he joined the family for dinner at Susie's apartment. Everyone behaved in character. Since Susie had no one to care for (but herself), she avoided discussing her feelings about the next day's surgery with the family and busied herself talking on the phone. Warren spent much of the evening playing helicopter, with his eyes leashed to the computer.

Very early the next morning, the family accompanied Susie to the University of California, San Francisco Medical Center, where the technicians hooked her up to an IV and drew a huge oval from her knee to her left ankle with a Magic Marker. This, they said, was to indicate the area where they were going to open her leg to take out what they needed for the bone graft. Dr. Isley, Susie's surgeon, came by to tell them that he would leave the operating room after ninety minutes or so to let them know for sure whether the cancer had spread.

Then Susie took her daughter into the bathroom and shut the door behind them. She didn't want Warren to hear what she had to say. "Listen," she said, "he is a wuss. *You* need to understand that if they get in there and there's more cancer, don't let them operate. I'm so afraid he's going to tell them to operate even if it's really widespread, because he won't want me to die."

By eight a.m. Susie was in surgery, and the family went to the main surgical lounge, where they awaited word, along with all the other people who were passing the time watching Jerry Springer on television while their loved ones were in the O.R. Warren pretended to read the newspaper. From time to time, he closed the paper, held it up before his face, reached a hand behind to wipe tears from his eyes, then opened it again.

Dr. Isley returned only forty-five minutes later. Although he had found cancer in two lymph nodes, it had not spread from there, which was good news. The surgery would remove only the lower floor of her mouth, the inside of her cheek, and about a third of her tongue. She did not need a bone graft. After Dr. Isley left, Warren began to ask, "Well, now, Sooz, was that what he said would take an hour and a half, or is he going to come back out again? Are you sure? Will they really know?" Each time, Susie Jr. reassured him that they already had the answer, and each time he would wait a few minutes and ask her again. "Well, how did they know so fast?" He kept saying, "I don't think this is good. Maybe he's going to come back out."

Sixteen hours later, Susie was in the intensive-care unit, breathing through a tracheotomy tube. Her left arm was bandaged from wrist to elbow where the surgeons had carved a slice of flesh for the skin graft inside her mouth. Because her tongue was swollen out of her mouth, a feeding tube had been threaded through her nose into her stomach. She coughed continually, clogging the trach tube, which had to be cleared frequently so that she could breathe.[12]

The next morning at the hospital, Susie Jr. told her father, "You need to get really ready for this. It's a shocking thing to see." Warren steeled himself as he walked into Susie's room. He knew he could not allow her to see any spasm on his face that would reveal to Susie how ghastly she appeared. Making a huge effort of will, he managed to sit unflinching with her for a little while. Then Susie Jr. told him and her brothers that they could go home. There was nothing further they could do. Having stuffed his feelings into a Pandora's box while he remained at Susie's bedside, after he left he says he *"spent two days just crying, basically."*

He went back to San Francisco for the following two weekends. Then, just before Susie was going to leave the hospital and go home, he flew down to Georgia and spoke to a group of students at Georgia Tech. He didn't talk about business much, but he invoked many of his familiar themes. He told them the fable of the genie, and he talked about philanthropy. He said the best investment they could make in life was in themselves. He told them about his hero Ben Graham and said to choose their heroes carefully, because heroes matter in your life. He told them to work for people they admired.

They asked him what had been his greatest success and greatest failure. He didn't tell them about his business mistakes of omission this time. Instead he said:

"Basically, when you get to my age, you'll really measure your success in life by how many of the people you want to have love you actually do love you.

"I know people who have a lot of money, and they get testimonial dinners and they get hospital wings

named after them. But the truth is that nobody in the world loves them. If you get to my age in life and nobody thinks well of you, I don't care how big your bank account is, your life is a disaster.

"That's the ultimate test of how you have lived your life. The trouble with love is that you can't buy it. You can buy sex. You can buy testimonial dinners. You can buy pamphlets that say how wonderful you are. But the only way to get love is to be lovable. It's very irritating if you have a lot of money. You'd like to think you could write a check: I'll buy a million dollars' worth of love. But it doesn't work that way. The more you give love away, the more you get."[13]

* * *

Warren continued visiting every weekend after Susie went home to her sunshine-filled apartment overlooking San Francisco Bay. The egg-yolk-yellow rugs were gone, lest their dust clog the trach tube. Chair elevators carried her up the four flights of stairs. The nurses used a rented suction-tracheotomy system. The doctors began to prepare Susie for the six-week course of radiation, which was intended to kill any remaining cancer cells. It would begin in December and continue through the holidays. The radiation, which she had never quite agreed to in the first place, was going to burn her throat. The doctors had told her to bulk up before the surgery because she could expect to lose around fifty pounds over the entire course of the surgery and radiation. That was a lot of weight, but one of the thoughts that had comforted her before the surgery was that she could afford to lose a good bit of it. Now, as the feeding tube came out, the nurses began to feed Susie six units of liquid meal replacement a day. It took her much of the day to get it down, because of the pain.

Under stress, Warren had gained a little weight. He felt that he needed to lose twenty pounds and had decided to diet alongside Susie's liquid meal regimen. "That can't be a lot of fun," he said, "so I won't have any fun either."

Buffett's manner of dieting was as eccentric and unhealthy as the rest of his eating habits. He decided to stick with his usual approach, which was to consume only a thousand calories a day and budget it however he liked. That meant he could spend the thousand calories on licorice, peanut brittle, hamburgers, or whatever else he wanted to eat so long as he didn't exceed the self-imposed limit. The easiest step was to cut back on all the Cherry Coke, replacing it with nothing and thereby dehydrating himself. The idea behind the thousand-calorie starvation regimen was to get the pain of dieting over with fast. He was impatient and cut off debate over the health merits of such a diet. At my height and age, he said, I reckon that I can eat about a million calories a year and maintain my weight. (The nice round, even number of a million calories pleased him.) I can spend those calories however I want. If I want to eat a bunch of hot-fudge sundaes in January and starve the rest of the year, I can do that.

It was completely rational (on the surface) yet totally ludicrous. But since he had never been either seriously overweight or seriously ill, it was pointless to argue with him. (He went on this crash diet every year right before the shareholder meeting; it is possible, however, that all that dehydration may have had nothing to do with his earlier kidney stone.) Regardless, Buffett had a way of winning arguments before they ever occurred. The one extremely rare exception was when he argued with the press over how it presented him. He never sparred with the *Financial Times* or the *New York Times,* both of which he read religiously. His problem, always, was the *Wall Street Journal.*

Through the years, his penchant for letting the rubes in on the fact that Wall Street was a sort of speakeasy inhabited by people who were out to fleece them had made trafficking with the *Journal,* Wall Street's official broadsheet, dangerously fraught. He had once done an "editorial board" luncheon at the *Journal* that backfired on him. Editorial board meetings were an opportunity for Buffett to put on his teaching hat and explain the economic issues of the day to editors—something he relished—but this time, an off-the-record quote had shown up in the paper. Kay Graham's rule of journalism had tripped him up—Graham's maxim being that a statement given off the record means the quote will not be used—unless it is really good.[14] Buffett had been furious, and obtained excuses and apologies from the *Journal* over its betrayal, which could

not be undone. Moreover, the *Journal*'s editorial page poured vitriol on him periodically because he supported shifting the tax burden away from the poor and middle class and toward the rich.

* * *

He would not dream, however, of skipping a day of reading the *Journal,* even on Fridays, the day he drove out to Eppley Airfield for the three-hour NetJets flight to San Francisco. Sharon Osberg picked him up at the airport and took him straight to Susie's apartment in Pacific Heights. Not wanting to disturb her or to be awakened by the light that came in through Susie's huge uncurtained windows, he slept down in the ground-floor apartment that Susie used mainly for storage. While Susie napped and slept, he went to Sharon's much of the time to watch football on TV and cry on her shoulder. Sometimes they went to midnight movies.

When Warren was in town, Susie saw no visitors, only her daughter, her nurses, and a couple of people like Kathleen who were caring for her day to day. Nearly everyone, even Jeannie Lipsey Rosenblum and Warren's sister Bertie, who had bought apartments in the same building, were kept away all the time—not just during the weekends—the feeling being that even a soupçon of attention would be too draining for Susie. Every day Jeannie wrote Susie a card and left it downstairs for her. Like many of Susie's loved ones, Bertie was sad about not being able to see her sister-in-law. She had always looked up to Susie for her wisdom about people, and now, in the wake of her husband's recent death, she felt that she had gained a similar wisdom herself. "Hilt was a psychologist," she says, "and even without trying, he could see what people's meta message was. When Hilt died, what he willed to me was that I can see things about people that I never saw before. All of a sudden my eyes opened about things I had never understood." Bertie felt that now her relationship with Susie would be different, more equal, so that she would no longer have to lean on Susie. She also felt she was starting to understand Susie for the first time.

As her brother traveled back and forth to San Francisco every week, he, too, was learning about things he had never known before—medication, radiation, and the ins and outs of dealing with doctors and nurses and hospital equipment. And he was also exploring a new emotional territory—facing Susie's fears as well as his own. When talking about this new world he had just entered, he measured out his words, keeping his feelings private, adjusting how much he shared according to how well he knew his audience. Sometimes he used as a distraction a favorite prop, Arnold Schwarzenegger, a fellow elephant friend whom he had recently endorsed as the Republican candidate in a recall election to unseat Gray Davis, the governor of California. *"My wife had an operation in San Francisco about six weeks ago, and I'll be out there a couple of days every week.* (Pause) *Well, you know, Arnold, sometimes people can't tell which one is which, when we're next to each other. When we're stripped down, nobody has a chance."*

When someone he knew better called, he struggled to talk about a subject that formerly he would have avoided at all costs.

"Oh, hi, Chuck. Yeah. Well, she's doing better in every respect than people have told us would be the case going in. She doesn't have any energy and it's—it's been an experience like she hasn't had before. But in terms of her mouth healing, in terms of swallowing—everything, it's all going fine. And the people are terrific. Not a lot of pain right now. I think it's psychological more than—I mean, she's not finding life any fun at all at the moment but.

"The annual meeting? Well, I would say this, now with Susie's condition the way it is, I think we're going to skip the music and just—there's no way she'll be singing in this May's meeting, so let's see what happens next year."

From time to time he still talked about Susie being able to sing again, even though that wasn't going to happen. And only with people with whom he was very close, such as his daughter, would he drop the occasional hint that he needed help.

"Hello? Hi. I feel fine. I'm getting two hours of sleep every night. Oh, great. Why don't you come down and

swap cars with me? Oh yeah, there's a ham to pick up, incidentally too. It's here…. We will. Maybe tomorrow or something. Okay. Okay? Okay."

Two hours' sleep a night.

"If I'm thinking about something I'm not going to sleep. I slept two hours last night, actually, and I feel fine. It doesn't kill me not to sleep. Susie's going through this thing again about whether she wants the radiation.

"We'll get over it. Her inclination over this was going in a worse direction when I left San Francisco but it's still better than it was when I got there. So.

"The only good thing about Susie having the operation is that this is the first year, in thirty-odd years, that I won't go to Emerald Bay for Christmas. I'm not even sure my house is there anymore."

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Winter

Omaha and San Francisco • December 2003–January 2004

Susie was still resisting the idea of radiation, so anxious about it that she was taking a lot of Ativan. And "Dr. Isley started giving me little Ativan speeches," said Susie Jr., "about how I needed to stop asking for so much Ativan for her. But she was very agitated about the radiation."

Warren's view was that it was a form of handicapping: If radiation improved your odds, why not do it? The surgery, he told her, was the hard part. The radiation wouldn't be nearly as hard. But the radiation oncologist had told Susie, if anyone tells you about their radiation and says it's not that bad, don't believe them. Radiation in your mouth is not like any other radiation. Everything will taste like metal. Your whole mouth will be burned. Your salivary glands will be damaged or destroyed. You may lose all your taste buds. There will be a lot of pain. Susie had already had a lot of pain. She felt she had the right to refuse more pain.

"She's seen a lot of people die, seen people go through more than they needed to go through. We both want control over the end of life. She has no fear of death, but somehow she got the idea that by having radiation, she would lose control and that radiation would increase the chances of a terrible end. We went on for hours and hours, around and around. It's up to her to decide what to do. But on the other hand, nothing makes sense right now. She keeps saying, 'I know my brain isn't working right.' And she's had these two doctors prepare her for sort of a worst-case scenario, in the nicest way, but just because they'd rather do it that way."

To calm her anxiety, every night she went through a bedtime ritual centered around a song by the singer Bono, who had befriended Susie Jr. after meeting Warren at a NetJets event. Now Susie put on U2's *Rattle and Hum* DVD when she was going to bed and fell asleep to "All I Want Is You."

"All the promises we break
From the cradle to the grave
When all I want is you…"

At the NetJets event, Bono had initiated his connection to the Buffetts when he told Warren that he just wanted fifteen minutes of his time.

"I knew nothing of Bono to speak of. So he asked me a few questions, and for some reason we hit it off. When I gave him an idea and he liked it, he'd say, 'That's a melody!' And at the end he said, 'I can't believe it. Four melodies in fifteen minutes.'...I love music. But actually U2's music doesn't blow me away. What interests me is that Bono splits the revenue of U2 among four people absolutely equally."

Buffett could at times be brutally rational about the way vast sums of money made a person more attractive, funny, and intelligent. Still, his wonderment had never quite ceased that celebrities of any rank sought him out. No matter how cool he tried to play it, he was flattered that no less a personage than Bono had deemed him smart. When Bono came out to Omaha during his Heartland of America tour, he contacted Buffett and through him met Susie Jr. Still a rock-and-roll girl at heart, Susie Jr. in turn was flattered and captivated by the singer's interest in her. The soulful leader of what some considered the biggest rock band on earth, he had a romantic hipster nobility that appealed to both her and her mother. U2's music spoke of a spiritual longing for love and peace. Their message—"the more you take, the less you feel, you gotta give it away"—was exactly the kind of thing both Susies would respond to. He invited Susie Jr. to join the board of his charitable operation DATA (Debt, AIDS, Trade, Africa). And he had made a huge impression on Susie's children too.

"He was just terrific with my grandkids—Susie's kids, Emily and Michael. He talked to Emily and had an enormous effect on her."

Bono had invited Emily to work as an intern at DATA the following summer. Big Susie, however, had never met her granddaughter's rock-star boss. She seemed to feel that she had finished her own personal mission on earth. "Why can't I just lie in bed the rest of my life," she said, "and the grandchildren can come out, and it will be fine." Is she kidding? thought Susie Jr. This is not going to happen. "You have to get up!" she told her mother. "You can't just lie in bed the rest of your life! You'll do the radiation and you'll get better, and you'll be able to travel again." Big Susie looked surprised. "Do you really think so?" she asked.[1]

Finally Susie was persuaded to go through with the radiation. She went in to be measured for the mask that the radiologist had to construct to cover her face so that the radiation could be safely applied. Buffett was now involving himself more and more in the details of his wife's treatment.

"I'm just nuts about her radiologist, who designs the mask and the angle of attack. She shows me on her computer exactly what gets hit from every angle, where the tongue and the vocal cords are."

Some of Susie's friends questioned whether she was once again doing something to please everybody else instead of making her own choices. Nevertheless, she had agreed to thirty-three treatments, five treatments a week, with weekends off, beginning in mid-December. Since the doctors had stressed the importance of continuous radiation, the rational Buffett ruminated over the fact that the off days happened to coincide with weekends. He thought it awfully convenient for the doctors, and wondered whether his wife's health was being compromised.

A week after the first treatments began, he flew to Buffalo to announce a new $40 million GEICO service center the company was going to open near Buffalo to manage its rapid expansion, holding a news conference with New York Governor George Pataki. The new center would bring two thousand or more jobs to the state, replacing some of the 17,700 jobs the Buffalo–Niagara region had lost in the past three years.[2] Buffett Carnegized Buffalo, a city chosen for its "smart, friendly people."

From there, he headed out to San Francisco for Christmas, which occurred during the first two weeks of Susie's radiation. For the first time since the 1970s, she was not going to be with her children and grandchildren over the holidays. But she wanted everyone else to be together for Christmas, so the rest of the family gathered at Susie Jr.'s in Omaha while Warren and Susie spent the time together in San Francisco.

For Christmas, Warren and Susie gave each of the kids another six hundred shares of Berkshire stock for their foundations—a complete surprise, which thrilled all of them.[3] Howie had donated most of his money so far to wildlife and environmental causes, Susie Jr. to education and local causes in Omaha, and Peter to environmental, Native American, and local causes in Wisconsin.[4] With an eye to the future, knowing that

they would one day have much larger sums of money to distribute, their parents had decided to give them this gift to train them in philanthropy. Within two years of Warren's or Susie's death, thirty, forty, fifty billion dollars or more—depending on Berkshire's stock price at the time—would sluice into the foundation, and the law required that shortly thereafter the foundation begin giving away five percent each year. Buffett did not believe in perpetual foundations that entrusted money to the whims of future generations of trustees. But with only a couple of employees, the Buffett Foundation was woefully ill-equipped to ramp up fast enough to give away a billion dollars a year.[5] Warren had been giving this problem a lot of thought, and it occurred to him that one way Susie could choose to deal with it was to turn some of the Buffett Foundation money over to the Gates Foundation. The Bill and Melinda Gates Foundation had grown since its establishment in 2000 to a multibillion-dollar philanthropy. Gates said that 4.2 billion people in the world, most of the earth's population, made less than $2 a day. Yet each of their lives was worth as much as any American's. These people lived in the here and now, not in some generation far in the future.

"Bill Gates is the most rational guy around in terms of his foundation. He and Melinda are saving more lives in terms of dollars spent than anybody else. They've worked enormously hard on it. He thinks extremely well. He reads thousands of pages a year on philanthropy and health care. You couldn't have two better people running things.

"They have done incredible work, they've thought it through, their values are right, their logic is right."

Warren was still assuming that Susie ultimately would be the one to make these decisions, however.

"Susie gets all the money. And she is in total charge of everything. My will just gives it to her, and her will just gives it to me.

"It's crazy to try and write complicated instruments; you don't need to do it. Now, she could give it all to my kids' foundations if she wants. She is not restricted. But Susie doesn't care whether she has one share of Berkshire or a hundred thousand shares of Berkshire.[6] *She will probably just put it all in the foundation. Not a share needs to be sold. In the first year or two, while they were ramping up on other things, if they just matched what the Gateses did and gave them two billion instead of one billion a year, that'd be perfectly appropriate. Don't get proprietary about it. I'm perfectly willing to let other people do all the work at Berkshire. But they would hate that at the Buffett Foundation. It seems so lacking in imagination and innovativeness. Even though it's terribly logical.*

"Now, that isn't what people want to do. I mean, the normal human institution reacts enormously against that. But that is not a crazy system. It's like doubling your position on a stock.

"He's got people in place. And if we gave some money to him, the last half of the money would be used as intelligently as the first half. There would be very little falloff in utility of the last dollar versus the first dollar. Giving money to other foundations, it's just not what foundations like to do. But there's nothing wrong with copying good people."

Coattailing by giving some of the money to the Gates Foundation while the Buffett Foundation was ramping up to give away its tens of billions might be completely logical. What wasn't completely logical, given the current circumstances, was for Warren to assume that Susie would be the one making these decisions, rather than himself or his daughter—and to operate under this scenario without a backup plan. Although maybe he was starting to have the embryo of a backup plan.

Over the holidays, Susie grew despondent again about her radiation. She threatened to discontinue it. Buffett went through another stretch of spending hours and hours convincing her that she had gone this far and it didn't make sense to stop. No matter what Susie decided, however, the radiation schedule would have two interruptions—at Christmas and New Year's. Warren steamed. *"It bothers me that they take off for the holidays as well as weekends. She's had eight radiation treatments. It just doesn't seem right. And the radiologist acknowledged to me that dropping the schedule to four days a week is somewhat marginal."*

Susie was still not well enough to receive any new visitors. Neither of her sons had even seen their mother

since the surgery. But Howie, his wife, Devon, and their son, Howie B., finally joined Warren in San Francisco for a couple of days. Howie, still a one-man chorus line of Rockettes when it came to energy, saw Susie "just a touch." But the family was still not allowing other people to visit.

"She'd just as soon conserve her strength as see anybody. Frankly, there's a number of people that are just dying to get at her. Some of them she's a huge crutch for, and all they'll do is drain her if they get close, because she can't stop being their resident psychiatrist or professor or whatever. She feels a little safer when I'm there, but she knows that if she starts seeing other people, they'll basically try to draw energy from her. With me or with Little Sooz she doesn't feel that way. But even with my sister or her best friend, Bella, she can't help but go back into the mode where she's giving and they're receiving."

Susie Jr. had instructed everyone around her mother to keep things upbeat. There were things that her mother was unaware of, that had to be kept from her, and which Susie Jr. monitored the fax machine to make sure her mother didn't see. Susie didn't know that Larry Tisch had died of cancer or that Bill Ruane had called Warren to say that he had been diagnosed with lung cancer.

Ruane was doing chemo at Sloan-Kettering, where Susie had gotten her second opinion. Warren got tears in his eyes every time Ruane's name was mentioned. The combination of this and Susie was too much. He had some time ago abandoned the thousand-calorie-a-day diet.

"Susie's weight has been quite stable for the past two weeks. We keep a chart of it. I eat a chocolate sundae, she eats a little bit of the chocolate sundae. And since my diet is naturally fattening, it helps her. I'm gaining weight, and she's stayed stable. She's in no danger of becoming anorexic."

On New Year's Eve, Nancy Munger was throwing Charlie a big eightieth-birthday party. Buffett flew down to Los Angeles for the celebration. He desperately needed the distraction, though it obviously bothered him that he would be attending the party alone, just as it had bothered him to show up at the Buffett Group meeting alone.

He had ordered an oversize cardboard cutout of Benjamin Franklin for a stand-up routine satirizing Munger's fascination with Franklin. Buffett had to ship the cardboard cutout to California in advance. Although he obsessed about whether it would arrive on time, it did, and he put on a classic performance, which included his singing "What a Friend I Have in Charlie."

Munger closed the festivities with a speech. He began by giving advice to the audience, in the latest iteration of various commencement and other speeches he had given elsewhere. Charlie's friends and relatives and members of the Buffett Group all had copies of these speeches, now collected into a book, *Poor Charlie's Almanack.*[7] Munger's favorite construct was to invoke Carl Jacobi: "Invert, always invert." Turn a situation or problem upside down. Look at it backward. What's in it for the other guy? What happens if all our plans go wrong? Where don't we want to go, and how do you get there? Instead of looking for success, make a list of how to fail instead—through sloth, envy, resentment, self-pity, entitlement, all the mental habits of self-defeat. Avoid these qualities and you will succeed. Tell me where I'm going to die, that is, so I don't go there.

Munger's other favorite theorem accused every academic discipline—biology, physics, economics, psychology, and so forth—of developing certain useful models, then applying them indiscriminately, wearing blinders. He advocated a "multidisciplinary model approach" to avoid the proverbial "man with a hammer syndrome"—the man who thinks everything is a nail. Munger collected models and laid them out as useful tools for life. He had a devoted following who appreciated the way he sliced through the Gordian knot of difficult problems, often by saying the unspeakable. They found his synthesis enlightening; some in this camp felt that Munger's genius was underrecognized because he was swallowed up in the showman Buffett's shadow. In recent years, however, Munger had become a more visible advocate for his views. He was always coming up with mind-boggling arcana as illustrations. Right now, he was fascinated with the lay magistrate system of England as a model for properly incentivizing ethical behavior, and various aspects of that system were invoked in his birthday speech. Munger wandered off on a brief detour to praise his wife for her many wonderful qualities, then returned to giving advice to the audience about the models of life that led to success

and happiness. He seemed convinced, however, that he (and Buffett) now lived on some elevated plane. He invoked his independence, and Buffett's, as reasons for their success, but then said it would probably be unwise for others—including his own children—to try to emulate the two of them.

Nancy Munger, who was standing next to Buffett, asked, "How do I get him to stop?"

Charlie started going into his windup. "In the end," he said, "I'm like old Valiant-for-Truth in *The Pilgrim's Progress,* who said, 'My sword I leave to him who can wear it.'" Good Lord, thought some of the Buffett Group members.

Eventually Nancy went out onto the stage and gently led Charlie away.

Buffett went straight back from Charlie's party to San Francisco to see Susie, who had just finished her twelfth treatment. The radiation schedule drew out his protective instincts.

"Four and a half weeks left. Martin Luther King Day is in January. Those radiology technicians—oh, believe me, they take every holiday there is. But, anyway, I would say so far so good. They're saying that this week is when it starts hitting her hard, but it hasn't hit her hard yet. She drinks what she calls this motor oil, and that's protecting her throat."

Nonetheless, Susie was spending most of her time in bed. *"It's just amazing how little she is up. She's either asleep, or getting ready to go to sleep, or getting up from being asleep, I would say seventeen or so hours out of twenty-four. We make it a point, no matter what—we walk for six blocks or so every day. The rest of the time, I just hold her, basically."*

The man who had always been on the receiving end was now learning to give. Rather than being taken care of by his wife, he was taking care of her. Buffett, of course, had not become some other person. But by acting out his values—loyalty, stewardship—he seemed, in his own way, to have incorporated some of the lessons of Susie's life into his own.

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Frozen Coke

Omaha and Wilmington, Delaware • Spring 2004

Toward the end of her radiation, Susie's mouth was so burned and dry that some days she could not eat or drink. The doctors put her back on the feeding tube because her throat was choked with a thick, dry mucus. She spent most of the time sleeping. But every day, she and her daughter or Kathleen walked a few blocks on Sacramento Street. As spring stole over San Francisco, Susie stayed bundled in a coat, gloves, scarf, and earmuffs to stay warm.

She hated to be alone. "Can't you just sit on the couch and look at magazines while I'm awake?" she asked Susie Jr. Then she scribbled, "WHT," her father's initials, on a piece of paper, a wry reference to the family trait of becoming anxious when alone.

She was cared for by her nurses, Kathleen, her daughter, and John McCabe, her former tennis coach, who after many years of looking after her once they had both moved to San Francisco, was well-schooled in acting in a one-hundred-percent supportive role. Anyone else, however, was likely to trigger her "giving" impulses and to drain her of energy.[1] On the weekends, when Warren came, he sat with Susie in the TV room watching old episodes of *Frasier,* or simply hung around in his bathrobe, reading the paper. Susie was

comfortable with him there; he made her feel secure—but decades of her "giving" and his receiving didn't disappear overnight. Sometimes Susie was so sick from the radiation that even Warren had to leave. But he was doing his best to immerse himself in the day-to-day needs of his family in a way that he had never done before. To give his daughter a break from endless days in Susie's apartment, Warren would take her to Johnny Rockets for a burger. The rest of the time he spent with Sharon.

He had even gotten involved in the minutiae of Susie's radiation treatment, however. *"Her taste buds aren't gone yet. I talked to the radiation oncologist, and it's conceivable that some of the tongue won't get hit by what they're doing, which could presumably mean a fair number of taste buds would stick around."*

Warren Buffett—the man who ducked the subject of a common cold and used terms like "not feeling up to par" as euphemisms for illness; the man who changed the subject uneasily whenever anyone spoke of physical complaints and who professed ignorance of the most basic points of anatomy—was using terms like "radiation oncologist" and doing medical homework for his wife.

But as he grew more optimistic about Susie's recovery, he started to become more irritable and needy. The business events of the year 2004 began to consume him, in between the trips he made back and forth to San Francisco every weekend. Unlike the ascending journey to glory of 2003, this would be a very different kind of year. Moreover, early in 2004 he was deprived of his regular source of support. Sharon Osberg had gone on a lengthy trip to Antarctica with his sister Bertie. On a ship cutting through the ice, she was reachable only by occasional e-mails. He filled the hours by scribbling away at his letter to shareholders, e-mailing it back and forth to Carol Loomis, and by serving as teacher and unpaid father confessor to corporate America. He had become the elder statesman of the business world. Buffett always said, Be long-term greedy, not short-term greedy. People turned to him because they trusted his direct way of getting to the heart of things and his sense of right and wrong. Although rich beyond even his own wildest dreams, he had passed up a lot of opportunities to make more money or to make it faster. This had brought him power and respect of a different sort. He was not feared like so many businessmen. He was admired.

Prominent people made the pilgrimage to Omaha or sought him out at events to ask for his influence and help. Sports figures like Michael Jordan, LeBron James, Cal Ripken Jr., and Alex Rodriguez came for advice. Bill Clinton stopped by for lunch to get advice on fund-raising for his new charity. Buffett was also pals with Mike Bloomberg, got along with John McCain, and maintained a good relationship with the senior Bushes and other Republicans like Chris Shays. He endorsed Senator John Kerry for president, but Kerry was not The Candidate, and unlike the entertaining triumph of the Schwarzenegger campaign for governor of California—Schwarzenegger most definitely was The Candidate—Buffett found himself associated with a respected senator who had no charisma.

The less-than-electrifying Kerry campaign meant that Buffett focused far more on his business relationships during 2004. CEOs like Jeffrey Immelt of General Electric, Anne Mulcahy of Xerox, and Jamie Dimon of JP Morgan showed up in Omaha to pick his brain.[2] The Internet-search firm Google was going public that summer, and its cofounders, Sergey Brin and Larry Page, were stopping in to see him because they admired his shareholder letters. The previous fall, after her indictment for lying to the government in connection with allegations of insider trading—for which she was never charged—Martha Stewart and her CEO Sharon Patrick had come out to Omaha to visit him. Buffett bought Stewart and Patrick a steak dinner, but couldn't solve Stewart's legal problems.

The environment for prosecution of white-collar fraud was changing rapidly, partly because there was just so much white-collar fraud to prosecute these days. New York Attorney General Eliot Spitzer, who had launched a merciless attack on corruption in business and on Wall Street, now led the SEC and the Department of Justice in a three-legged race to see which agency could prosecute most zealously. The others hopped along desperately trying to keep up with Spitzer's pace; all their charges got bundled into one trial or settlement in the end. Spitzer was diabolically inventive at using the new electronic tools of the Internet —especially e-mail—as evidence, at harnessing an accommodating press as a weapon, and at wielding an arcane New York statute, the Martin Act, that gave him virtually unlimited powers, checked only by his personal—and virtually nonexistent—sense of prosecutorial discretion.

With these tools, he had forced two prominent CEOs to resign—Buffett's business colleague Hank Greenberg, who was now the former CEO of AIG, and his son, Jeffrey Greenberg, the former CEO of insurance broker Marsh & McLennan. A pall of fear hung over corporate America; Spitzer was so successful at execution-by-media that the bitter joke had become that he was saving the government the cost of indictment and trial. Juries that formerly treated white-collar malefactors with deference were now routinely sending them to prison like any other criminal; under new mandatory sentencing guidelines, judges were imposing harsh sentences on them. Some of this mayhem was well-deserved. Greed, hubris, and lack of enforcement had given many people in business the impression that the rules did not apply to them. Just as stock options and the Internet bubble had engorged the senior echelons of business's wallets at an exponential speed, so had the backlash arrived in gargantuan proportions. Buffett—like most of corporate America—had not fully adjusted to this new environment; his view of proportion was shaped by the earlier era: defined by the careful prosecutorial calibrations of former SEC Enforcement Chief Stanley Sporkin and U.S. Attorney Otto Obermaier; by the travails of Salomon, when even Paul Mozer, who nearly brought down the whole financial system after Gutfreund failed to report his crime, had only served four months in prison. His viewpoint would eventually be revised, however, by the outcome of events that had occurred at Berkshire Hathaway itself.

Buffett usually arrived at the airport to pick up his guests personally. He took them on a nerve-racking ride to the office (if, that is, they were not too dazzled by him to notice), spent a couple of hours listening to their issues and throwing out ideas, then usually escorted them to Gorat's and treated them to a T-bone and hash-brown meal. He told them to be plainspoken with shareholders in annual reports, to pay employees in alignment with shareholders, not to run their business according to the whims of Wall Street analysts, to deal with problems forthrightly, not to engage in accounting shenanigans, and to choose good pension-plan advisers. Sometimes people asked how to manage their own money, but while he gave them some basic ideas, he didn't hand out stock tips.

To all those who felt the life of a CEO under scrutiny was not what it used to be, Buffett talked about "the ninety-eighth floor" in terms a CEO could understand. People who were looking down from the top at everybody else had to keep things in perspective. So what if they got knocked down a few pegs or lost some of their money? Those who still had their family, their health, and a chance to do something useful for the world should try to count their blessings, not their curses.

"If you go from the first floor to the hundredth floor of a building and then go back to the ninety-eighth, you'll feel worse than if you've just gone from the first to the second, you know. But you've got to fight that feeling, because you're still on the ninety-eighth floor."

He considered himself on the hundredth floor most of the time. However, during the spring, 2004 was definitely shaping up to be a ninety-eighth-floor kind of year. He waited with impatience as Susie suffered through her radiation until the moment later in the spring when her doctors would perform an MRI to determine whether the treatment had knocked out the cancer cells. Business was also problematic on various fronts: Buffett felt that he had "struck out" when it came to bringing home the gingersnaps: new acquisitions and new stocks to buy. Berkshire had around $40 billion in cash or the equivalent, which was "not a happy position."[3]

Most of the companies within Berkshire Hathaway were doing well—even the beleaguered General Re had finally but truly reversed course and posted an underwriting profit in 2003. But GEICO had just emerged from a bitter price war and was locked in a battle for customers with its archrival, Progressive. GEICO had run a commercial in 1999 featuring a popular new character, the GEICO gecko. But GEICO's Internet presence was lagging behind Progressive's Web page, which let customers comparison-shop. Buffett had been thinking about the Internet and auto insurance for a decade now; he went to meetings at the company's headquarters near Washington and repeated one statement over and over: "He who wins the Internet, wins the war." He waited impatiently for the Internet business to reach its potential. Berkshire had appointed a new board member, Charlotte Guyman, a former Microsoft executive. The board now had its first woman, who also lowered the average age. Buffett said, however, that he did not seek board members for their demographics. He wanted "owner-oriented, business-savvy, interested, and truly independent" board members.[4] Now Buffett sent Sharon Osberg and Guyman to Washington to help GEICO speed up its Web

site improvement. “I have total confidence in GEICO,” he said, all the while invoking his new Internet mantra, He who wins the Internet, wins the war.

Buffett paid more attention to GEICO than almost any other business he owned, simply because he loved it. He was also a great fan of both Tony Nicely and his co-CEO Lou Simpson, whose investing track record he now trumpeted to shareholders in his annual newsletter for the first time. For the past twenty-five years, Simpson had averaged 20.3 percent, beating the market by an average of 6.8 percent a year. The stocks he bought were different from Buffett’s, but the method was the same, and his record was almost as good as Buffett’s own. Now it was obvious why Buffett granted him so much autonomy and paid him so well. Simpson qualified as another of the Superinvestors of Graham-and-Doddsville. Admittedly, however, as competition increased, the Superinvestors’ job was getting harder all the time.

Still, the challenge of finding new investments wasn’t nearly as severe as bird-dogging the ones that Berkshire already had. Coca-Cola was again evolving into a nightmarish preoccupation. Since the death of Goizueta, quarter by quarter, month by month, its business had grown steadily worse. New evidence of accounting manipulation appeared like barnacles on Coca-Cola’s earnings; the stock had sunk below $50, from a high in the $80s. In percentage terms it was hovering somewhere around the sixtieth floor.

Doug Daft had earned a reputation for volatile moods and byzantine politicking; a number of senior members of management had departed during his tenure.[5] His subtle tweaking of the four main Coke brands had produced unspectacular results, along with column after column of copy meowing at inept ads.[6] Pepsi had pulled off a huge success with Gatorade after Coca-Cola failed to make that deal with Quaker Oats back in 2000. Then, a whistle-blower declared that Coca-Cola rigged a marketing test for a fountain product called Frozen Coke to impress a longtime customer, Burger King. The whistle-blower had also accused Coke of accounting fraud, and the SEC, the FBI, and the U.S. Attorney’s office started investigating. The company’s stock price shrank to $43. Buffett had had enough of the “managed earnings” that underlay these problems, in which the Wall Street analysts’ predictions of what a company would earn enticed managers to dig behind the sofa cushions in order to “make the numbers,” thereby meeting or beating “consensus” expectations to please investors. Because the vast majority of companies had tried to set, then surpass Wall Street’s expectations instead of simply reporting what they earned—making the practice uniform—even a penny-per-share shortfall made them look as though they were having problems and often led to precipitous declines in stock prices. Thus, companies claimed they “must” manage earnings, in a vicious, self-fulfilling game. But “earnings management” was a sort of Ponzi-ing. If carried on long enough, a petty form of cheating snowballed into larceny.

“I can’t tell you how much I hate managed earnings in terms of what they do to people. The nature of managed earnings is that you start out small. It’s like stealing five bucks from the cash register and promising yourself you’ll pay it back. You never do. You end up the next time stealing ten bucks. Once you start that kind of game, it draws everybody in. The organization picks up on it, people get cute and clever, and it snowballs. I gave these speeches after we discovered it. I told them, ‘Now the monkey’s off our back. We don’t have to predict anything to the analysts. Let’s just give the damn handout showing the results every year, and whatever we earn, we earn.’”[7]

Buffett wanted out of the game. If asked off the record what his worst business mistake was, he no longer listed “*sins of omission*” instead, he said, “*Serving on boards*.” He was weary most of all of the way it tied his hands. Coca-Cola had changed its policy of requiring directors to retire at age seventy-four to one that merely required directors at that age to submit a letter of resignation for the board to consider. Leaving the Coke board would have let him tap-dance off into the sunset. But for the savior of Salomon to snub a company in trouble would be like sticking a dagger in the stock. *“I wouldn’t stay on the board, except I don’t feel like leaving the other guys”* to deal with the mess at Coca-Cola, Buffett said. His pro forma letter was, of course, rejected. This was seen externally as a power play to maintain the coziness of a board of cronies. Buffett had no idea what a plateful of misery he had just ordered.

As soon as the proxy statement was filed with Buffett’s name listed for election as a director, Institutional Shareholder Services, a powerful organization that consulted on shareholder voting and voted proxies on

behalf of institutional investors, told its clients to withhold their votes for him. ISS said that Buffett's independence as a member of the audit committee could be affected by the fact that Berkshire Hathaway companies like Dairy Queen and McLane bought $102 million of Coca-Cola products. At a time when scandals involving conflicts of interest had shaken confidence in institutions ranging from the church to the military, the government, and business and nonprofit organizations, accusations of conflicts of interest and questions of governance were taken with a new seriousness. The cronyism of Coca-Cola's board could have been attacked on other grounds, but ISS lacked any sense of proportion in applying its principles regarding conflict of interest. Its lack of proportion was in keeping with the lack of proportion shown by most who were attacking business at the time (which, to be fair, some in the business world had more than earned)—but nonetheless, disproportionate it was. Since Berkshire's purchases of Coke for its businesses were trivial when compared to Berkshire's ownership stake in Coke, which was huge, how could Buffett's behavior as a member of the audit committee or the board of Coca-Cola be said to be compromised?[8]

The rules of ISS, however, were based on a checklist, with no leeway whatsoever for common sense. CalPERS, the powerful California Public Employees' Retirement System, also decided to withhold support for half of Coke's directors, among them Buffett, in his case because the audit committee on which he sat had approved the auditors to do nonaudit work.[9] While CalPERS was taking a principled stance on auditors, this recommendation was sort of like putting out the candles on a birthday cake with a fire extinguisher.

Buffett made a quasi-joke of it in public, saying that he was paying CalPERS and ISS to rally votes against him as an excuse to get off the board. But in fact he was mad, especially at ISS. It seemed obvious to him that the billions of dollars' worth of Coca-Cola stock that Berkshire owned grossly outweighed the Coke products that Berkshire Hathaway bought.

"If I were a wino off the street, those amounts they're talking about might be significant. But I own eight percent of Coca-Cola. We've got so many more dollars in Coke than anything else. How would I possibly favor Dairy Queen's interests over Coke's when I own so much more of Coke's stock?"

Herbert Allen sent an emotional letter to the *Wall Street Journal,* citing the Salem witch trials, when "reasonably stupid people accused reasonably smart and gifted people of being witches and casting spells. Then they burned them.… Up until the geniuses at ISS said it, nobody knew that Warren was really a witch."[10]

When corporate board members were surveyed, they unanimously thought Buffett was their dream director. "We would come and wash Buffett's car to have him on our board.… There's not a person in the world who wouldn't take himon their board.… CalPERS's action shows the stupidity of corporate governance run amok…analogous to an NFL coach preferring an unknown quarterback from a Division II college instead of a Super Bowl quarterback.… If you were a shareholder, given the choice to have Warren Buffett on that board or not, you'd want him."[11] The *Financial Times* referred to ISS as the Darth Vader of corporate governance, citing a position that "smacked of dogma."[12] With inkwells of backlash spilling all over them, CalPERS and ISS began to look foolish, "somewhere between hideous and self-promoting populists," as one retired CEO put it on the survey. "How could you bring yourself to a position where you would vote against him as a director and think that was a pro-shareholder thing to do? What a ridiculous piece of advice."[13]

Throwing Buffett off the board to improve the audit committee was like firing your doctor because you were still sick. What Coca-Cola needed was more Buffett, not less. ISS responded by saying that it was not advocating a vote against Buffett. Rather, it was saying to "withhold" votes from him because of his position on the audit committee.[14] But withholding a vote was not voting for Buffett, no matter how you parsed the words or why you said you did it. The more ISS explained, the less anyone was convinced.

The bigger problem was that ISS was not just giving advice. Because so many investors had simply delegated their voting rights to it, ISS was more like a single behemoth shareholder that controlled as much as twenty percent of all the board votes for major corporations in the United States. The securities laws had not anticipated that a situation could arise in which one unregulated, magisterial "shareholder" held so much

power over American businesses. But there it was.

Buffett had a passionate view of corporate board responsibilities, founded in his partnership and based on alignment of interests. *"I think owners should behave like owners, and I think they should care about independence. And so those guys are right on two out of three. It's just that they don't have the faintest notion of what independence is about or how boards actually work. This checklist approach is totally crazy. If we'd gone out and found somebody in the unemployment line and paid them $125,000 to be a Coke director, they'd be considered 'independent.' And CalPERS and ISS would have no problem voting for him, even though he depended completely for his income on that paycheck from Coke."*

Studies, however, had shown either no correlation or negative correlation between board independence and a firm's performance.[15] But for the Coke board to rail against ISS also lacked a certain credibility and seemliness. Now that Coke's stock was barbecue, its board members could convincingly summon no more than low to middling dudgeon. The accusations of a "crony board" neared the mark. Although it had factions, one faction ruled; or rather misruled; Buffett admitted that he should have done more to try to steer things right at Coke. Indeed, if Coca-Cola had been run by him, assisted only by a six-pack of Cherry Coke, perhaps many of its woes could have been avoided.

Instead, a brew of important people—several of them titanic personalities, and all of them accustomed to being in charge—could not sit back and simply allow themselves to be led by a weak CEO; they had spun into a vortex. That Daft had improved Coca-Cola's profits, sales, and cash flows and had mended poisonous relations with the bottlers were not enough to turn things around for him. In February, Daft suddenly told the board he was resigning.

Daft was unpopular in many quarters, but his announcement set off dismay at the prospect of more bad publicity for Coca-Cola. This time the next guy in line could not be simply plugged into the job. Some board members viewed that as the chance to finally do the job right. In a move that had instantly attracted controversy, however, concurrent with the announcement of Daft's resignation, seventy-seven-year-old Don Keough had joined the board; Keough, who had been sometimes referred to as the "shadow" CEO, became chairman of the search committee. He and Buffett now spent hours on the phone trying to find a leader for Coca-Cola.

The search for a fourth CEO in eight years quickly turned into a spectacle. The board looked at Coca-Cola's president, Steve Heyer, once considered a shoo-in, but the board members split over him, and once outside candidates were proposed, his chances began to fade. Various celebrity CEOs considered then turned down the job. Each rejection fed the media another bit of Schadenfreudenfodder. Slit-eyed rumors gathered for a chat. Maybe Coke would buy another company. Maybe it would sell itself to Nestlé.

Buffett flew to the April 20 board meeting in Wilmington, Delaware, the evening before the Coca-Cola shareholder meeting, prepared for two days of intense work. He was not looking forward to the reading of the results of the director election, which would show a significant percentage of the vote withheld from him.

In the faded grandeur of the old Hotel du Pont, Buffett began with the meeting of the audit committee, which was still conducting the inquisition and preparing to do corporate penance over the SEC investigation of earnings management.[16]

"If you don't come clean the first time you discover it, you're stuck. And that may mean giving up your job too. I can see how it happened. Roberto was a wonderful guy. He did a good job of running the company. And the rest of them were decent people, pretty much. But if Roberto told them, 'I want you to ship some extra cases,' it would have been unquestioned at the Coca-Cola Company."

The audit committee felt all this had been concealed from them. Buffett, sentenced to remain on the Coke board for another year, knew of no real solution except: Clean up the damned mess and never do it again. He moved on to the finance committee, then the executive committee. The board had various thorny issues to address. At last the evening ended.

The next morning, as he was getting dressed before heading down to the meeting, he reflected on the coming day's events. The Teamsters would already be clogging the street in front of the hotel with their blue tractor-trailer truck parked among the students waving signs that said "Coca-Cola Destroys Lives, Livelihoods, and Communities" and "Killer Cola, Toxic Cola, Racist Cola." He couldn't see from the window, however, whether the Teamsters had brought their twelve-foot-high inflatable rat. The Coke shareholder meeting was becoming a rite of brand-building within the activist community.

Then the phone in his hotel room rang. He picked it up and found the last person he was expecting on the other end of the line—Jesse Jackson. Jackson merely said that he wanted to express his admiration for Buffett. They talked for a minute or two of things of no consequence, and hung up. That's odd, thought Buffett. In fact, it was the first sign that this was going to be the Coca-Cola shareholder meeting to end all shareholder meetings.

Downstairs, protesters in the lobby outnumbered the shareholders. The glassblowers' union handed out bumper stickers to protest the company's purchases of bottles from Mexico.[17] Protesters handed out leaflets accusing Coca-Cola of conspiring with paramilitary groups in Colombia to assassinate labor leaders. College students protested Coke's presence on their campuses. Buffett quick-stepped across the lobby to the ballroom, where he was recognized and let inside, along with the rest of the directors. He sat down in the front row. The other attendees picked up credentials, then passed through security, their packages scanned by metal detectors as they surrendered cell phones, cameras, recorders. The security check amid the gilded molding and crystal chandeliers gave the place the feel of a crowded and unpleasant government palace in some former colonial outpost that had suffered through one too many dictatorships. The travelers seemed to have arrived at some dreary but dangerous destination. Coca-Cola put little brochures around the lobby highlighting its community projects and offered a cooler of Coke and Dasani water for people to grab on their way to the stiff-backed shoulder-to-shoulder seats into which the shareholders wedged themselves for the two-hour journey through the Kafka novel that a modern annual meeting had become.

Doug Daft made some brief introductory remarks from the podium between the two long, funereal, white-covered tables behind which the other executives had barricaded themselves. He asked if there was any discussion of the proposal to elect directors. Buffett, seated up front with the rest, turned around when Ray Rogers, president of Corporate Campaign, Inc., an agitator-for-hire group that worked mainly for labor unions, stood up and yanked the microphone from the floater who was working the aisles. Rogers started yelling that he had withheld votes "until a number of terrible wrongs are righted by this board." Coca-Cola, he said, was "rife with immorality, corruption, and complicity in gross human rights violations, including murder and torture." Daft was a liar, he screamed, the company's leadership operated with "unrestrained greed," and the company was an "utter pariah" in the United States that made its money "on the destruction of a lot of communities." As Daft tried to reassert control of the meeting with all the success of a substitute teacher, Rogers continued shouting, shuffling through what appeared to be many pages of text. Daft told him his time was up and asked him to stop speaking, but Rogers carried on. The audio people turned off the microphone's sound, but Rogers's vocal cords were far too well-exercised to be daunted by the mere absence of amplification. Finally, a group of six security guards wrestled him to the floor and carried him away as the audience stared in shock and Daft stood by helplessly, trying to restore order, pleading, "Be gentle, please," to the security guards. Then he muttered audibly to a colleague, "We shouldn't have done that."[18]

After this steer-wrestling session ended, the room settled into a jittery hush. Sister Vicky Bergkemp of the Adorers of the Blood of Christ took the microphone next. She gave a short speech about AIDS and asked the management of Coke to inform the stockholders of the business effect of the AIDS pandemic on Coca-Cola. Since AIDS had nothing to do with Coca-Cola's business, management agreeably supported this proposal. Then shareholders introduced other proposals having to do with their view of excessive compensation given to management. The company recommended votes against all of these.

At last, the results of the election of directors were reported. This was the moment Buffett had been dreading. "Each of the nominees for election of director have received over ninety-six percent of the votes," said the general counsel, "with the exception of Mr. Buffett. Mr. Buffett received over eighty-four percent of the vote."[19]

Being singled out in public as the least-wanted director at Coca-Cola was humiliating. Never before had a group of shareholders rejected him. Even though CalPERS and ISS accounted for virtually all of the sixteen percent of the votes against him, and institutional investors had for the most part ignored CalPERS and ISS and championed him, it didn't feel like a triumph. Rarely had Buffett regretted serving on boards as much as he did at this moment. However, there was little time for him to dwell on it, because Daft opened the microphone to shareholder questions, and the Reverend Jesse Jackson promptly stood up and hijacked the meeting.

"Mr. Daft, and members of the board," he began in rolling tones, "let me say at the outset…that while many disagreed with the first person making a comment…his violent removal…was beneath…the dignity…of this company. It was…an overreaction…. It was…an excessive use of power…. I…would like to know," Jackson asked rhetorically, "if there is a person of color…in the mix under consideration for the job" of CEO. The college students' complaints about Coke on campus and accusations that the company had murdered union leaders in Colombia now seemed anticlimactic. Daft struggled to conclude the most disastrous shareholder meeting in Coca-Cola's history, as board members vowed to themselves that the way this meeting had escaped the CEO's control must never be repeated.

After the fiasco, the search for a CEO took on the feeling of an emergency. Steve Heyer, the internal candidate, had been ruled out at the last board meeting and was heading off to pursue other business interests at Starwood Hotels, complete with a huge and controversial severance package that would, once again, embarrass Coca-Cola. Finally, the board reached out to another candidate they had been discussing, sixty-year-old Neville Isdell, who had retired after being clotheslined years before by Doug Ivester. A tall, charismatic Irishman who had been raised in South Africa, Isdell was popular with the board. By then, however, Coca-Cola could do nothing to please its audience. "Bringing in the old guys" was the reaction. "They hired another Daft."[20] Isdell was already presumed a future victim of the board's ax, for the board had earned a fearsome reputation for irksomeness and whimsical behavior.[21]

Yet this was the same board that had sat primly for years as if it were Goizueta's footstool. It was only after Goizueta's untimely death left the leadership in shambles that the board, which for the most part consisted of the same people who had served under Goizueta, had split in two. During the six-year interregnum, a small group of directors had grabbed for the reins of the Real Thing's runaway stagecoach. All the while, the company missed consumer trends and made strategic mistakes. To catch up and correct the problems, Coca-Cola needed a determined and tough CEO who could tame the faction on the board that became overbearing when deprived of a dominant leader to keep them in line. How long Isdell would survive would depend on how strong a leader he turned out to be.

Buffett gave his speech about managing earnings; Keough started to help Isdell, as he helped every new CEO. Isdell accepted the help, but as it turned out, he wouldn't need all that much.

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The Seventh Fire

New York City, Sun Valley, Cody • March–July 2004

Buffett had spent twenty-six weekends in San Francisco. He and Susie had watched almost a hundred episodes of *Frasier* together. The family remained protective. She still saw almost no one else.

She was starting to eat fresh food. Her friend Tom Newman, a caterer and chef, tried to interest her in something healthier than ice cream and chocolate malteds, and made her pureed carrots, creamed spinach,

mashed potatoes, egg salad, and "anything where I could get her some proper nutrition."[1]

In March, she went for her first MRI scan since the surgery. Buffett knew the stakes associated with this event. Susie had said she would have no more surgery.

"She won't go back into the hospital. She won't. I think the odds are reasonably good, but…"

The MRI came back clean. Buffett was overjoyed; he said that Susie's doctors told her that this meant she had the same odds of a recurrence as if she had never had cancer. Susie may have put it this way to Warren because she thought that this was what he needed to believe, but what Dr. Schmidt had actually told her was that she could probably count on one good year. After that, the future was uncertain.[2]

Months of being trapped inside by illness, just as in her childhood, affected Susie predictably. As weak as she was, her pent-up urge to live her life again exploded. "I'm going to see my family," she said. "I want to see everybody. I'm going to do everything I want to do until Dr. Schmidt tells me not to."[3]

The first thing she wanted to do was go to the Laguna house and have the grandchildren come visit. For Warren's sake, she wanted to attend the Berkshire shareholder meeting. She wanted to be strong enough to attend the premiere of Peter's multimedia show, *Spirit—The Seventh Fire,* which was to take place in Omaha in July. She had a long list of other goals as well.

Susie's hair, which had been light-colored for the last few years, was close-cropped now; her youthful face looked a little slimmer but otherwise no different than before. She spoke with a slight lisp, but it was easy to forget what had happened and not notice how little energy she had.

Buffett's preoccupation was whether she would be able to attend the shareholder meeting in May. The meeting had taken on such symbolism to him that a measure of how much people cared about him was their willingness to travel to Omaha for this event. Susie's presence reassured him; she was not a spectator but part of the show. If she could not attend, it was as though his leading lady would be missing from the stage.

* * *

The Buffetts had triangulated the shareholder weekend so that Astrid (who considered the whole thing a bore and was pleased to be excused) accompanied Warren only to the backstage social events, just as she did in real life, while Susie attended the "official" public social events in the role of "wife." She sat in the directors' section at the meeting and sang onstage with Al Oehrle's band in the mall at Borsheim's on Sunday afternoon. Buffett's supporting cast of loyal Daisy Maes had grown larger over time, and he cared very much that they attend as well. From time to time throughout the weekend, a clanking sound heralded the approach of Carol Loomis wearing her bracelet hung with a collection of twenty-seven matchbook-size gold and enamel charms, facsimiles of the Berkshire Hathaway annual reports—one for each year she had edited Buffett's words. Sharon Osberg became part of the show by taking on any shareholder who wanted to play bridge with a champion on Sunday afternoon in the big white tent outside Borsheim's. Buffett had not yet figured out a way to put his latest Daisy Mae, Devon Spurgeon, to work. Spurgeon, the former *Wall Street Journal* reporter who had covered Berkshire for a while, was starting law school in the fall. Buffett had made Spurgeon one of his new people, a great rarity that now occurred only at intervals of years. Buffett had actually suggested that she get married at the meeting, where he would walk her down the long, long center aisle to the front and give her away as a bride. "Imagine how many gifts you would get from Borsheim's," he said. Genuinely touched by his offer—but warily envisioning news stories portraying her nuptials as the Berkshire version of a Moonie wedding—Spurgeon and her fiancé Kevin Helliker decided to get married in Italy instead. Buffett had granted her a seat with the managers in their reserved section;[4] Osberg and Loomis, who were de facto family, sat in the section reserved for family and directors.

Everyone else had to scramble to avoid a place in the rafters. This year, so many requests for passes had

come in that almost twenty thousand people were expected.

A black market of scalpers had sprung up on eBay, selling meeting credentials for as much as $250 for four passes. Buffett was mildly awestruck. Who ever heard of tickets scalped to a shareholder meeting? The eBay listing said: "Possibly meet in person Warren Buffett or ask him a question at the meeting.… Winning bidder also receives the visitor's guide. The pass also allows you employee pricing at Nebraska Furniture Mart and Borsheim's Jewelry Store…. BBQ party…Cocktail party at Borsheim's…Shareholder party at Buffett's favorite steak house…View displays from many of the Berkshire companies."

As much as the P. T. Buffett loved it, Howard Buffett's son wanted the scalping stopped. He couldn't allow people to be gouged by scalpers just to attend the shareholder meeting. The man who, a year or two earlier, had professed (for good reason) ignorance of technology set up his own e-tailer on eBay, hawking meeting credentials at $5 a pair. People e-mailed anxiously. Would these credentials be "real," or would they look different, stigmatizing the buyer as not a "real" shareholder? The question implied that this would be awful, labeling them as not a member of the "club."

But, no, the credentials would be real, however obtained. And with that, Berkshire Hathaway—once a cozy club made up of rich partners whom Buffett considered friends—suddenly became a fan club. Buffett had opened up the tent and invited *everybody* in.

* * *

Omaha's brand-new Qwest Center rose like a great silver circus tent near the Missouri River. Its facade reflected like a mirror on the grimy old Civic Auditorium across town, scene of the last four meetings. Kelly Muchemore strode around the floor for days ahead of time with her walkie-talkie, overseeing forklifts filled with bales of hay and crates of flowers, lampposts, and tons of mulch that would be landscaped into garden and seating areas in the exhibition hall. Construction crews built neighborhoods of booths to display awnings, air compressors, blocks of knives, encyclopedias, vacuum cleaners, and picture frames. Workers installed signage marking the "Berkyville" streets and avenues that snaked in between the furniture showroom, the kitchenware store, the Western boot–fitting area, the Bookworm book shop, the candy store, the insurance sales counter, and the women's shoe store. Upstairs in the arena, the stage crew set up the white-covered table with microphones backed by oversize screens where Buffett and Munger would sit, while the lighting crew tested the panel that created the orchestrated light show that would open the event. A "star" private dressing room was outfitted backstage so that Susie would have a place to rest. An armored truck pulled in with a $250,000 pair of jeweled cowboy boots destined for the Justin exhibit. A movie projector and screen and giant pillows waited in a casbah party room, where the hundreds of exhausted Berkshire Hathaway employees who would be working free of charge could drag themselves to collapse after the event.

Buffett bounced around the office like a teenager. Visitors, including a group of college students, dropped in to see him. His voice grew hoarser as the week wore on and the number of visitors kept increasing. Everyone nagged at him to save his voice for the presentations, but he ignored them, sprayed his throat, and kept talking anyway. Requests for more than a thousand tickets had come from Texas, two thousand from California, and another fifteen hundred from outside the United States. A group of seventy-seven people had chartered a plane to fly from Australia.

By Friday Buffett's voice sounded like someone recovering from a bad cold. Still, he refused to stop talking. But Buffett never had stopped talking, never once in his life. Since he was a little boy and astonished his parents' friends with his precocity; since he gave his high school teachers advice on stocks; since the Alpha Sigs gathered around to hear him lecture at fraternity parties; since he and Ben Graham held a duet around the conference table at Columbia; since he had sold GEICO as a prescriptionist; since he'd first picked up a stick of chalk and taught investing at night; since he'd bewitched people at cocktail parties in Omaha and dinner parties in New York; from the first meeting of the partners to the last; from the day he answered Conrad Taff's questions at the original Berkshire shareholder meeting in Seabury Stanton's old loft to the latest group of students who had shown up at his door—as long as he could be teaching something to

somebody, Buffett had never ceased talking.

On Friday night, he spoke to a small group at a dress rehearsal,[5] then headed to a private dinner hosted by Charlie Munger. Before dawn the next morning, caterers arrived with food for the press box, the backstage area, and the vendors' Beehive Café. People dressed in sport coats and polo shirts and T-shirts and shorts and big yellow foam hats were already lined up in a scene resembling Macy's the morning after Thanksgiving. When the doors opened at seven a.m., they ran for the arena and marked out the best seats. By eight-thirty, every seat was filled. When the lights dimmed, talking ceased instantly. Nobody whispered, nobody straggled in late. The audience was waiting, rapt. The music began and the movie rolled.

The filming of the introductory movie for this year's meeting had consumed a large portion of Buffett's energy in the spring, in between trips to San Francisco and long phone calls about the problems of Coca-Cola. For the first time, it had involved real Hollywood scripting, professional studio camerawork, and—to Buffett's almost orgasmic delight—the use of a body double. His very own doppelganger! He had been watching it over and over in the office, anticipating the audience's reaction.

The new governor of California's face appeared on the screen. Arnold Schwarzenegger was wearing drill-sergeant gear and sitting behind an elaborate desk in a fully stocked workout room. The movie rolled through a parody of *An Officer and a Gentleman,* in which Arnold, in the Lou Gossett Jr. role, browbeat Bufffett's body double through a torturous workout, as punishment for having talked indiscriminately to the *Wall Street Journal* about California's bizarre, inequitable property tax laws during the gubernatorial election. Buffett had feuded with the *Journal* over its selective use of his words, and won an apparently resounding victory in readers' minds by writing a letter to the editor about his viewpoint and posting it on the Berkshire Web site. Since then, he had been simultaneously playing the incident up and trying to live it down.

"You want to quit! Say it! Say you want to quit!" roared Arnold.

"No sir! You can't make me say it! No sir! I've got nowhere else to go!" shouted Buffett. But then he started cruising through the workout as easily as if he were sitting in his chair at home, reading the *Journal*.

The scene dissolved to the governor's office, Arnold sleeping, head on his desk.

Aide: "Mr. Governor."

Arnold: "I got nowhere else to go!…Huh?"

Aide: "Power-nap time is over, sir. Time to get to work on some more propositions to fix this mess we're in."

Arnold: "What? Oh, okay. Wow. I just had the strangest dream…."

He picked up a magazine on his desk and his face twisted. On the cover of *Muscle & Fitness* was Buffett's smirking face superimposed on the bulked-up, posing, *Pumping Iron* Schwarzenegger body. Arnold reared back, his expression a strangled mask of fear.[6]

Here it was, Buffett's delirium dream. To pull it off had taken hanging out with the world's best bodybuilder and a little camera magic, but he had finally done it. He had made it into the modern-day equivalent of the *Big Arms* book. Pudgy Stockton would be so impressed.

The audience roared. Then the movie rolled on, featuring Warren and Charlie, but especially Warren as a superhero, in any number of guises. Most of the skits and cartoons emphasized Buffett and Munger as cheapskates.

Afterward, the auditorium went dark for a moment. Then while the stage lights rose, Susie, in a pink sweater and skirt, looking a few pounds lighter, walked briskly out onto the floor toward the directors' section immediately in front of the stage and sat down. Next, Buffett and Munger entered like a couple of graying talk-show hosts and sat down at a white-cloth-covered table. Enormous screens displaying them had been

positioned all around the arena, so everybody got a close-up look. Buffett was staring out at a dark arena filled with flashing lights and as many people as would show up in Nebraska to see the Rolling Stones.

Before taking questions, Buffett kicked off the meeting with rapid efficiency to cover a normally perfunctory five-minute business agenda of electing directors, ratifying auditors, and the like. This year, almost immediately, one of the shareholders stood up at a microphone and said in a timid voice that he was withholding his vote; he offered a motion from the floor. He asked that Buffett consider using some of the CEOs of his companies as directors because they were better qualified than Susie and Howie Buffett.

An audible ripple shuddered across the auditorium. The motion, even though presented in a respectful tone, fell like a big wet blot to mar the smooth, engraved surface of the shareholder meeting agenda. Most of the audience was shocked. Berkshire was now the fourteenth-largest business in the United States, with over 172,000 employees, $64 billion in revenues, and profits of $8 billion a year. But it remained at heart a family corporation; as the largest shareholder, Buffett had the votes to elect a couple of board seats for family members if he wanted. He saw his family's role in Berkshire as similar to the Walton family's at Wal-Mart, a nexus between the Buffett Foundation and the company. Unquestionably, the way he chose his board was purely personal, although some board members happened to be successful businessmen.

"Thank you," said Buffett. "Charlie, do you have any thoughts on that?"

This punting to Munger—no quick comeback or pithy comment—was a measure of Buffett's complete discomfiture. However, it also put Munger on the spot, since anything he said might imply that he had some influence on how Buffett chose his board. He had none whatsoever, so Munger simply said, "I think we should go on to the next item."

Another motion came to the floor. Tom Strobhar, on behalf of Human Life International, one of the organizations that had boycotted Berkshire Hathaway and successfully forced the company to end its charitable-contributions program, gave a speech about abortion that was, as he later wrote, "ostensively [sic]" disguised as a proposal that Berkshire publish a list of its political donations.[7]

Buffett merely said in response that Berkshire hadn't made any political donations. The motion was voted down.

The business section of the meeting had now consumed half an hour instead of its usual five minutes and for the first time had borne a vaguely unpleasant resemblance to the Coca-Cola meeting. All this time, shareholders holding written-out questions had been patiently lined up at the numbered platforms equipped with microphones stationed all around the arena. Now Buffett opened the questioning by asking to hear from "microphone number one." As the questions began, his wheels churned on the issue that was bothering him. He used a question on another topic as an opportunity to address the issue of his family as board members. His wife and son, he said, were on the board as "guardians of the culture. They're not there to profit themselves."

It was a remarkable moment. For the first time, he had to defend in public the way he ran his company. Afterward, however, nobody else asked anything related to this topic. The shareholders of Berkshire Hathaway were content with things as they were. Buffett had earned the license to run his company any way he damn well pleased, as far as they were concerned; they were a happy lot. How was the investing climate? they asked. Our capital is underutilized now, he said. It's a painful condition to be in, but not as painful as doing something stupid.

Somebody asked Buffett about ISS recommending a vote against him on the Coca-Cola board. The issue still lingered. "I think it was Bertrand Russell," he said, "who said that most men would rather die than think. Many do."

"The cause of reform is hurt, not helped," Munger added in a tart voice, "when an activist makes an idiotic suggestion like the one that having Warren on the board of the Coca-Cola Company is counter to the interest of the Coca-Cola Company. Nutty activities do not help the cause for which the person speaks."[8]

As happened every year, someone asked what Buffett was doing with all those warehouses of silver he had bought a few years ago. He paused for a minute, then said he couldn't comment. Munger made some unintelligible noises in the background and the shareholder sat down, unenlightened. In fact, the silver had been sold.

Buffett and Munger started eating peanut brittle, and people went downstairs to the basement exhibition hall, where thirty-seven Berkshire Hathaway subsidiaries were selling products, and bought out all the peanut brittle in the See's Candies shop. When Buffett and Munger started eating Dairy Queen Dilly Bars, the Dilly Bars sold out. Many people bought boxes of candy and took them back to the meeting upstairs, where they sat listening to Buffett and bingeing on sweets.

In the course of answering the many repetitious questions he was asked in between the new and insightful ones, Buffett managed to work many of the items he wanted to discuss into his responses. This year he used the meeting to expound on his "Why I'm Down on the Dollar" theme. The U.S., he said, was like a family that spent more than it earned. Americans were buying huge amounts of products from other countries and didn't have the income to pay for them, because we weren't selling as much to other countries as they were selling to us. To make up the difference, we were borrowing money. Those who were lending it to us might be less willing to do so in the future.

Now, Buffett said, we were spending more than two percent of all our income just to pay the interest on our national debt, and that meant the situation would be hard to turn around. Most likely, he thought, at some point foreign investors would decide they liked our real estate and businesses and other "real assets" better than our paper bonds. We would start selling off pieces of America, like office buildings and companies.

"We think that over time the U.S. dollar is likely to decline in value against some of the major currencies," he said. Therefore, the economy—which had been pretty wonderful over the past twenty years, with both low interest rates and low inflation—could at some point reverse. Interest rates probably would be higher, as would inflation, which would be an unhappy situation. As always when he made predictions, he couldn't say when. In the meantime, however, he had bought $12 billion of foreign currency to hedge Berkshire's dollar risks.

While Buffett and Munger were talking about the perils of debt, people rolled down the ramps and escalators to the shoe department and waited in lines to pull out their credit cards. Fitters from Tony Lama and Justin sold a pair of boots a minute: workaday plain Westerns to fancy lizard models. Over at Borsheim's, on the west side of town, more than a thousand watches and 187 engagement rings were being sold. The Furniture Mart was doing a record $17 million of business.

The convention center had many of the elements of a carnival; a GEICO gecko waved at passersby next to a NASCAR race car. A character dressed as a foam Acme brick hooked up with a foam ice-cream-cone character. A rodeo clown stalked the floor on stilts among the air compressors and boat anchor winches. At the south end of the exhibition hall, rising above the crowd, just as Buffett had pictured it, stood a full-size Clayton Home, clad in beige siding with a tidy front porch, sand-colored shutters, and a real grass lawn and brick foundation bedecked with shrubs. And just as he had foreseen, a queue snaked back and forth behind a zigzag rope, as if it were Space Mountain at Disneyland.[9]

But it was the Fruit of the Loom booth that epitomized Berkshiredom. The Fruit of the Loom booth never had to hand out key chains or free playing cards. People stood waiting in long lines to buy a five-dollar pack of men's briefs and have their picture taken with the guys wearing grape and apple suits. By the end of the day, nearly every pack of underwear would be sold.

The black-and-white See's Candies store, conveniently positioned in the middle of the exhibition hall, also had jammed aisles—so jammed that it ran out of lollipops, salted nuts, and peanut brittle in less than three hours. Many of the customers did not bother to pay. Those taking the five-finger discount hooked huge amounts of candy as well as dozens of pairs of shoes from the shoe store, while, above their heads, Buffett and Munger talked about honesty and the ethical way of life.

As yet unaware of the thievery taking place beneath their feet that might force them to consider installing a Berkyville jail by the bookstore next year, Buffett and Munger ambled on, answering questions and chomping on sweets as they talked their way through the entire six hours.

Any normal person would be exhausted after putting on a six-hour live, unscripted performance, but when the meeting ended, Buffett and Munger went upstairs to a large room and parked themselves at a desk, signing autographs so that shareholders who had come from foreign countries could get closer to them. This was a recent idea of Buffett's. Munger sat through it patiently, but he was getting tired and sometimes talked with bemusement of this circus that Warren had created. He, too, enjoyed being worshipped, but never would have gone to the trouble to stage-manage and encourage it, the way his partner did.

* * *

Susie had left to go lie down after the first couple hours of the meeting. She skipped the Sunday brunch, but flew to New York with Warren on Monday. She stayed in bed in her hotel room until one in the afternoon, mashing up pills in room-service ice cream. Susie Jr. watched over her to make sure she didn't get trapped into overextending herself. She wanted her mother to limit her outings to one thing a day—one visitor, one shopping trip, one fifteen-minute visit to the hotel lobby.[10]

Susie did attend the traditional dinner party that Sandy and Ruth Gottesman held in their honor every year. Since the mid-1990s, this had become the one time that many of the people in the Buffett Group could count on seeing their old friends during the annual New York trip. Now Susie Jr. said to Ruth Gottesman, "She's going to try to do more than she should. She's going to say she's fine. She's going to lie to you," and she asked for help in protecting her mother. Most of those who gathered at the Gottesmans' had not seen Susie at all during the past year, except perhaps at the shareholder meeting, and then only briefly. She sat in one room and Warren in another, while people came in to greet them and chat. Many people would later recall the event as emotional. Susie declared that she was glad she had gone. But afterward, she was exhausted.

Warren also wanted her to do an interview with public-television talk-show host Charlie Rose. Susie said many sentimental and flattering things about her husband, and explained that she provided Warren with "unconditional love." She also discussed her move to San Francisco, saying she left, as she told Warren, because "I would like to have a place where I can have a room of my own. It would be nice." On Astrid, "She took care of your man for you?" asked Rose. "She did, and she takes great care of him, and he appreciates it and I appreciate it…she's done me a great favor," Susie said. Perhaps because of the set-up question, this exchange made clear that Susie viewed Astrid as the tool through which she managed Warren—something that Susie may not have intended to reveal quite so bluntly. Afterward, she said to Susie Jr., "Let's go to Bergdorf's."[11] There, she sat on a chair and looked at some things but soon said she was tired and went back to the hotel.

A couple of days later, on Mother's Day, her energy rebounded in time to accept an invitation to meet her daughter's friend Bono at the Tribeca Film Festival. Bono had been faxing her letters during her recovery, which Susie Jr. would read to her. The letters, according to Susie Jr., "were sort of this giant thing to her." By May, after going to sleep every night listening to Bono sing, she had grown passionately interested in meeting the messianic singer. The two had a brief encounter, and "I just can't even explain to you how excited she was," says Susie Jr.

Susie went to bed and rested for two days. Then Bono, his wife, Ali, their daughters, and Bobby Shriver (the brother of Arnold Schwarzenegger's wife, Maria Shriver), who had cofounded the African-aid charity DATA with Bono, came over to the Plaza Hotel to meet Susie for lunch in the dining room. For three hours, Susie and Bono sat talking. Then he presented her with a portrait that he had painted from a photograph of her, overwritten with some of the lyrics to the U2 song "One." Susie was overcome. Bono invited her to visit him in France with Susie Jr., who was coming for a meeting of his foundation board.

When Susie returned to San Francisco, she immediately gave a place of honor to the picture, making room for it among all the other art and masks and decorative items on her walls. Then she made up her mind to go to France. The Africa vacation had been canceled once again, for she was far too weak to make that trip. But she thought she could go to France. She and Susie Jr. started by spending four days at the Ritz in Paris, where Susie recovered from the trip across six time zones by following the get-up-at-one-p.m.-pills-in-ice-cream routine while going out once a day to do something simple. Then they took the TGV bullet train to Nice, to Bono's salmon-colored stucco mansion in Eze Bord de Mer.

This house, where Gandhi was said to have once prayed, sat on a point overlooking the Mediterranean. Susie's high-ceilinged bedroom was warmed by a fireplace and lit by expansive windows framed in gauzy white curtains that opened onto the sea. She spent most of her days sleeping, but one afternoon Susie Jr. called her upstairs to a terrace overlooking the water while Bono played music from *How to Dismantle an Atomic Bomb,* U2's unreleased album. He was singing a song he had written for his father's funeral: "Sometimes You Can't Make It on Your Own." That evening they spent four hours talking over dinner, and Bono stood up and toasted her, saying, "I've met my soul mate!"

Her reverence for the charismatic rock star had grown so during the course of getting to know him in person that the next day, on the plane home, Susie stayed awake and played U2 music on her iPod the entire way. "I can't explain the rest I got there," she would later say about Bono's house.[12]

Roughly a week after the two Susies returned from France, most of the family went to Sun Valley, while Peter and Jennifer stayed in Omaha, setting up for the premiere of his show, *Spirit—The Seventh Fire.* After the long year of pain and isolation, Susie was making up for lost time by trying to see everyone and go everywhere. At Sun Valley she spent time with various people, including Barry Diller and Diane von Furstenberg, an oral-cancer survivor whose faxes and advice had helped to keep up Susie's morale over the past months. But the feeling of liberation was not unqualified. She was so tired that she had to skip the first morning lecture. At lunch later that day, when she ventured across the restaurant to get some skim milk, she was suddenly mobbed by people who wanted to wish her well. Susie Jr. sent Howie to rescue their mother, saying, "She can't do this. She's going to keep trying, and she can't. Go make her sit down."

On the second day, Susie Jr. got a golf cart to take her mother around. When Susie Jr. walked into the condo to pick her mother up, she was shriveled in a little ball on the couch crying, saying, "I can't do it."[13] Even though she spent much of the trip resting, it drained her tiny store of energy.

When the family returned to Omaha, with everybody on hand for the upcoming premiere of Peter's show, Susie took the opportunity to visit her daughter's new knitting shop. Susie Jr. had gotten together with a partner to open String of Purls in a suburban shopping center. Buffett was genuinely excited at his daughter's entrepreneurialism. He could relate to a knitting shop. He had analyzed its prospects and thought it might gross as much as half a million dollars a year. Once again he could bond with his daughter in a special way. He was as enthused over the knitting business as any other business: It attracted him for the same reason he pored over GEICO's reports and tracked the growth of their Internet sales week by week; monitored the See's Candies sales at every single retail store every single day during the holiday season; read the daily sales figures by fax from Shaw Carpets; reviewed the daily reports from Borsheim's before Christmas; memorized real estate listing statistics from Home Services of America (the real-estate company that MidAmerican Energy owned); recited jet-fuel costs and ownership statistics for NetJets; and knew ad lineage from the *Buffalo News* by heart.

Peter's multimedia event was nothing like the knitting shop; it was harder for Buffett to comprehend. Based on the PBS special Peter had done earlier, it had consumed four years of effort, during which he focused on improving the execution and experience of the live performances while refining the music and story line. And all of this work would have no certain result—except the satisfaction of the creative act.

Buffett had seen the earlier live performances and knew the show involved Peter on keyboards with a band; a special theater shaped like a tent; lasers, drums, video, and Native American singers and dancers. Warren always gave students advice to pursue their passion, but the examples of passion he used, like becoming backgammon champion of the world, were competitive at their core. Someone driven by an inner fire of

artistry, irrespective of the world's rewards, was simply off the map of his reality. That was Susie's territory, the realm of spirit and soul and heart, of the poet in her lonely room, of the painter striving for self-expression on canvas for years with no public recognition of his work. Nonetheless, his own passion and patience and creativity as he worked with capital resembled Peter's passion and patience and artistic vision with music. Thus, Buffett's genuine wish for Peter's success found its expression in the best and only way he knew—in the marriage between art and commerce. The show's potential for commercial success preoccupied him. *"I've seen it several times, and I've seen different iterations of it almost every time. It gets enthusiastic responses, but what I don't know is just how big the market is. It's not like a Broadway musical, in terms of the depth of the market, so we will find out."*

The Buffett name had worked heavily against Peter when it came to raising money, because people assumed that he had easy access to unlimited funds. People did not take him seriously about not having money until he actually mortgaged his house to fund the show. Warren, typically, offered to pay the last ten percent of the cost if Peter could raise the rest. When he had raised two million of the total, his father went ahead and gave him $200,000 of the $300,000 he had promised. Peter then raised the rest of the money himself, much of it through a grant from the Rudolph Steiner Foundation. From start to finish he struggled against heavy odds to raise funds while trying to stage and produce the show at the same time. His parents, during the same months, waived their "no donations" rule and wrote a $10 million check to Tom Murphy's Save the Children as a gesture of friendship and support.

It seemed a little chilly—even in the name of cultivating self-reliance—to support their son's cause with only two percent of what they gave a family friend. With hindsight, however, Peter was grateful that his show did not become a vanity project funded by his father—which no one would have taken seriously. He felt that the way his father handled it was one of his typically brilliant solutions to complex problems. It gave Peter his family's endorsement, for which he was grateful, while still allowing him the struggle and pride of raising most of the three million needed by himself—although he could have used that last hundred thousand dollars.

Warren did not quite understand his son's fascination with Native Americans. He (and much of the rest of the family) thought of it as "the Indian show." Warren had never been self-reflective, and the show's symbolic exploration of stolen identity, and the triumph of man's will in reclaiming what was lost, escaped him.

Spirit—The Seventh Fire was a dazzling story acted by a Native American who told the story of his return from the modern world to reclaim his cultural heritage. The self-enclosed stage resembled a tent, spacious and intimate, contemporary yet historic. Peter's music, exotic yet familiar, flowed and pulsed around the audience while Native American performers in wildly feathered costumes danced and sang against a background of epic film.

Susie had been angry at Peter all spring over his obsession with the show. Peter had a much different personality from his father, but Susie felt that he risked turning into a musical version of Warren, of jeopardizing his marriage to Jennifer. She could take in all of the effects and feelings in the show, however, and let the music intensify her other senses. She appreciated Peter's artistic accomplishment. Warren loved music and was proud of his son, but, sitting at the premiere, the show's multilayered kaleidoscope of visual impressions overwhelmed him, leaving him uncertain what to make of it. He looked at others in the audience and saw people clapping and cheering, which told him that the show was good. And when the *Omaha World-Herald* called it "poignant, sad, uplifting, thrilling, and powerful," he was delighted. He had been internally holding his breath in anticipation of this moment for more than a year, and his relief that Peter had succeeded on such a large scale was obvious. But he also feared, with reason, a hometown bias and waited to see if the show would be well-received elsewhere.

As *Spirit* continued to play in Omaha, Susie went to Laguna with a group of her grandchildren. They were used to Susie indulging their wishes and giving herself to their needs, going here and there with them, the perfect grandmother; she didn't disappoint them now. She took them shopping at the mall, like old times, sitting in a chair and pointing at things around the store, saying, "I'll take one of those, and two of these, and one of those."[14] After this visit, she was exhausted, but began to prepare herself for the annual trip to Herbert Allen's post–Sun Valley gathering.

The wisdom of spending another long weekend with a crowd of people at the high altitude of Cody, Wyoming, so soon after Sun Valley, seemed questionable. Some in the family were strongly against her making this trip. But Susie was doing cartwheels at the sheer joy of living, and Warren wanted to feel that everything was back to normal. Thus, the last week of July, Warren and Susie reunited for a long weekend at Herbert Allen's J—9 ranch.

Susie struck people as exuberant, elated to be there.[15] At dinner in the great room, where an oversize fireplace took the chill off the high mountain air, she was chatty and outspoken, proposing that the guests take a straw poll about the upcoming election.[16] Afterward, when the table had been cleared and everyone was thinking about dessert and coffee, she stood in the kitchen, telling people how much closer her illness had brought her to her daughter.[17] Suddenly, she blinked and said there was something funny going on inside her head.[18] For a split second, Herbert Allen thought she was doing a silly dance step. Then he realized she was going down. As her legs buckled, he and Barbara Oehrle caught her before she hit the floor.[19]

They carried her to a nearby couch, where the yoga teacher Herbert Allen had brought in for the weekend held her. They sent Warren off to their cabin to get her pills. Susie's health had always been so uncertain, and she had pulled through so many other crises, that nobody thought it was that serious. Still, they put through a call for paramedics. Warren called Susie Jr., who was at the Democratic Convention in Boston with Bobby Shriver and Bill Clinton, watching John Edwards speak. He said something about a headache and asked for Dr. Isley's phone number. She gave it to him and he hung up. She wondered briefly if something was wrong, then thought, My mother could have broken her toe and he would be calling for Dr. Isley's number.[20]

Lying on the sofa, Susie was having trouble lifting her arm. She vomited a couple of times and said she was very cold and her head hurt terribly. They wrapped her in blankets. She began drifting in and out of consciousness, at times struggling to speak. Warren had managed to get the information about her prescriptions that the paramedics would need. As he observed Susie's condition, he grew more and more distressed; it was becoming apparent that she had probably had a stroke. The other guests waited, helpless, for the ambulance to arrive. The time passed slowly. After a while they all grew more hopeful when Susie commented that her head felt better and started responding when asked to move her arms and feet. Then the paramedics arrived and did a few tests. They placed her onto the ambulance cot and wheeled her outside, as Warren followed. After lifting her into the back of the ambulance, they climbed inside and shut the door. Warren got into the front seat and the driver began the thirty-four-mile journey through the winding mountain roads to West Park Hospital in Cody.[21]

As soon as they were in the ambulance, Warren called Susie Jr. "You need to come here," he said. "Something has happened to Mom. I think she's had a stroke." A few minutes later he called again and said, "You need to find your brothers and bring them with you."

Susie Jr. reached Peter in Omaha, where he was in his hotel room preparing for the show. She found Devon in a Wal-Mart in Indiana. "Where's Howie?" she asked. "In Africa," said Devon. "He's landing in about half an hour." Susie Jr. tried to hurry the NetJets plane that was coming first to Boston to pick her up and then to collect Peter in Omaha before continuing on to Cody.[22] By then, Howie had landed in Africa and gotten word to call his sister right away. His first thought was, Something's happened to my dad. His second thought was, Something's happened to Peter. "I absolutely did not think it was my mom," he says. He was horrified to be stranded with no way to get a return flight until the next day.[23]

While Susie Jr. worked on logistics, Herbert Allen and a friend, Western sculptor T. D. Kelsey, followed the ambulance in Allen's car. They grew frustrated at how slowly the ambulance was proceeding; it upset them that Buffett was trapped inside and subjected to the interminable ride. At one point they pulled up alongside the ambulance and Allen shouted at the driver, asking what on earth was going on, but no one answered.

When they finally reached the hospital, the CAT scan revealed that Susie had had a massive cerebral hemorrhage. Warren paced back and forth in the emergency room, and eventually the doctor came out and told him that Susie had little chance of lasting through the night. Tearful and distraught, he went out to the

lobby and told this to Kelsey and Allen.[24] Then he walked back upstairs and sat in the room with Susie, waiting. They were alone.

At around four-thirty a.m., the plane carrying Susie Jr. and Peter arrived. After their car pulled into the hospital parking lot, its mountain backdrop much like that at Sun Valley, the first person they saw inside the lobby was Herbert Allen. Susie Jr.'s first thought was "Oh, my God, this feels just like Mrs. Graham."

Upstairs, they found their father sitting next to their mother, holding her hand. A Cherry Coke sat untouched on the table nearby. "I've been here for five hours," he said. Susie was so quiet, you couldn't see her breathing underneath the little oxygen mask.

Warren went to lie down on the bed in the adjoining room. Peter lay down on the floor, and both fell asleep. Susie Jr. sat down in a chair next to her mother on the bed, touching her.

A little while later, she realized that Susie wasn't breathing. She went and found a nurse. Then she braced herself and woke her father up to tell him.[25]

Warren wept while his children spent the next few hours doing what had to be done. They worked with Herbert Allen to draft a press release, signed off on the papers required for the release of the body and the organ-donation procedures, took care of the arrangements for their arrival in Omaha, and made calls to Astrid, Kathleen, and others who were close to Susie and Warren so they wouldn't get the news on the CNN crawl. By noon all of them were on the G-IV for the worst flight any of them had ever taken.

After some time in the air, Warren took a deep breath and asked, "Is there a bathroom in the front?" There wasn't. "Walk with your back to the couch," Susie Jr. told him. He inched his way to the back of the plane, his eyes averted from the plane's sofa, where the zippered bag that contained Susie's body lay.[26]

When they landed in Omaha, the family had another surreal experience as the plane taxied straight into the hangar, where a hearse was waiting, rather than stopping on the tarmac, so that they could deboard without having their grief invaded by a band of paparazzi. Warren went straight home, walked upstairs into his bedroom, shut the door, turned off the lights, and got under the covers.

Astrid knew what to do, which was nothing. She made sure he had his sleeping pills and left him alone. Now and then she went over to Susie Jr.'s and cried herself. The rest of the time she stayed at home to take care of Warren.

The next day, Friday, he was still under the covers. Ron Olson, who had some legal obligations under Susie's will and was a close friend and strong influence within the family, particularly with the children, arrived from Los Angeles with his wife, Jane. Warren came downstairs, and the Olsons sat with him for a while. Within an hour, the phone rang. It was Don Graham. "Where are you?" asked Susie Jr. "At the Hilton downtown," he said. He had known to come without being told. Then Susie Jr. drafted a couple of her own friends to join them at the house. Over the next several days, they all sat in the living room to help distract Warren and make sure that he was never alone. At nine-thirty each night, he went up to bed and took his sleeping pill.

A day or two later Warren tried to call a couple of people. When they answered, no words came out; his throat had closed. He gave up trying to talk and heaved with sobs for a few minutes. Then, when the storm of tears passed, he choked out, "I'm sorry," and hung up the phone. They would never have known who it was, except that the sound of Warren sending out an SOS was so unmistakable.

Susie Jr. had already sent for the people who were needed. The following week, Bill Ruane and Carol Loomis arrived to visit for a few hours. Sharon Osberg came. Bill Gates arrived. Kathleen Cole flew in. And Howie finally returned from Africa after "the longest trip home," one that he never wanted to think about again.[27]

Bill and Sharon went ahead with a bridge tournament they had been scheduled to play in—with Warren—that week. He managed to join them for dinner one night at the hotel where the tournament was

being held, and he did watch them play for a while, which helped to distract him. Another night they were over at the house, where Warren wanted them to sit with him to watch the Charlie Rose video of Susie's interview. Astrid didn't want to see it, which was just as well, and he was afraid to watch it alone. They put it on the DVD player and it began to play. After a while, Warren was weeping. Bill left the room while Sharon crawled into his lap and rocked him as he cried.[28]

The mere mention of Susie's name sent Warren into tears. As the funeral approached, it became apparent to Susie Jr., who was planning the event, that something else was bothering her father. It dawned on her what this must be. "You don't have to go," she told him.

Warren was overcome with relief. "I can't," he said. To sit there, overwhelmed with thoughts of Susie, in front of everyone, was too much. "I can't go."[29]

Unlike Warren, hundreds of others did want to grieve for Susan Buffett in person, at some sort of memorial service. None was ever held. Only the family, a couple of Susie's closest friends, Bono and his wife, Ali, and Bobby Shriver were invited to the funeral. Susie's musician friend Dave Stryker played the guitar, and the Reverend Cecil Williams from Glide Memorial Church conducted the service. Bono sang "Sometimes You Can't Make It on Your Own." The grandchildren wept.

And for several weeks more, that was all. Warren faced the emptiness. Many people, including Susie herself, had questioned how well he could survive without her. He had never recovered from the death of his father and still could not face the unfinished business of Howard's boxes of papers in the basement. As Sharon put it, he had a tendency to think in the third person. But he suffered this time in the first person, grieving fully, living in the now, even though the now terrified him.

Susie's death carried with it deep intimations of his own mortality. His seventy-fourth birthday was approaching with its metronomic tick of doom. He wanted cheering up badly and talked to a couple of friends who then made plans, as he wished, to visit him in Omaha on his birthday. A few days later, Susie Jr. called them and said, *Don't come.*[30] Warren wasn't ready. Indeed, distraction was not the best thing for him. The process of mourning could not be shortened; it could only be endured.

He could not escape from grief, even in sleep. The nightmares haunted him, every night the same. The separation from Susie, the split that he had never been able to contemplate during all the years of their living apart, was happening right before his eyes. He was captive on the endless ride to the hospital in Cody, locked inside the ambulance, helpless to help her, unable to stop the momentum of the wheels. The silent mountains stood silhouetted against the July stardrift in the thin evening air. Silently the driver picked his way through the winding hills. The road unreeled before them, mile after mile, rows of trees passing like pilgrims up to the foothills above. In the back, Susie lay on the cot, pale and still. The sounds in the ambulance faded as the miles went by. Strands of juniper hung like dim moss from the mountainsides while the road ahead stretched thinner in the distance. The stars fell still in the vast black overhead. Time slowed to eternity.

All he had ever asked of her was not to leave him, and she had promised that she never would. No matter how many other people she had cared for and supported, no matter which way her heart had tugged her, through all her travels, no matter how many different directions she had run, Susie had always come back to him. She had never let him down.

Now there was no response. He needed her so much that it was impossible that she would leave him. He would hold on, he would not let go; therefore she must stay with him.

The ambulance crept onward through the darkened mountains. The quiet hum of the oxygen tank mingled with his tears. In the back there was only calm, a bare whisper of breath, no obvious sound of pain.

It was Warren's chest that burned, it was his heart that exploded with each revolution of the wheels. You can't leave me, you can't leave me, please don't leave me.

But Susie was already passing beyond his reach; she was now in other hands. And the force of her withdrawal from his world to the next was tearing him apart.

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Claim Checks

Omaha and New York City • 2004–2008

The first aftershocks of Susie's death occurred at the reading of her will, even though most of its provisions were not unexpected. She left nearly all of her Berkshire stock, worth almost $3 billion, to the newly renamed Susan Thompson Buffett Foundation, now headed by her daughter. Another six hundred shares, worth $50 million at the time, went to each of her children's foundations.

She had been generous to people she cared about, although her husband's influence doubtless dampened her generosity. Her children each received $10 million. A long list of other people, headed by Kathleen Cole and her husband, received smaller amounts. She had amended her will in the year before her death through a codicil executed by a new lawyer; the codicil gave John McCabe $8 million. It also left $1 million to Ron Parks, the friend who had spent so many years as the de facto chief financial officer of "STB Enterprises."[1]

The secret codicil shocked nearly everyone. Susie had never reconciled the divisions within her world and in the end chose to leave them unexplained. The life she lived for others was her legacy; her inner truth would remain forever unspoken. Thus it would be left to others to form their own interpretations.

Warren had long loved his wife as an ideal. She had been the "grounding person who was his connection to the outside world" as well as the "glue that held the family together."[2] After her death, he was never able to look at Susie's photograph without crying. But he did not lapse into a years-long depression, or commit suicide, as Susie had suggested he might. Instead he mourned. For about two months, he seemed deeply depressed. And then, as most people do, he gradually returned to living his life. The bathtub memory went to work and his love for Susie overcame the rest.

"That was the most important relationship he had personally," says Howie. "No question about it. And he depended on it heavily. But my dad is a survivor. Anybody who thought he was going to fall apart because my mom died, I think didn't know him. Because he is not going to fall apart over anything. He's got his own toughness, even though people may not see him that way. He didn't get to where he is because he's some kind of wimp."[3]

That toughness helped him not just to survive but to adapt and even to grow. When the dreamlike assumption that "Susie will take care of everything" popped like a soap bubble, Warren began to show a newfound realism. As each month passed, he began to deal more acceptingly with endings and mortality and to connect with his children in a new way. As his sister Bertie would say, Susie seemed to have willed him some of her strength, a little of her emotional fluency, and a lot of her generosity. Warren seemed to be acquiring unexpected dimensions to his inner life. He reclaimed some of the responsibility for the emotional territory that he had always left to his wife. He became more aware of his children's feelings, of what they were doing and of what mattered to them.

Susie Jr. quickly stepped into the leadership role that her mother had played, especially when it came to philanthropy, a job for which she had been preparing much of her life. She began to hire and to enlarge the foundation's offices to plan for the much larger sums of money it would now be giving away. Running two foundations seemed to her a wonderful opportunity, not a burden.

Peter was taking *Spirit—The Seventh Fire* to the National Mall in Washington as part of the celebration for the grand opening of the National Museum of the American Indian. One day he called his father to say, Dad, we're setting up the tent! Afterward he realized that, in the past, he would have called his mother, who would have told his father. It felt good to have a direct connection.[4] Warren gathered a group of friends and flew to Washington to attend the cocktail party and opening night. By the time *Spirit* opened, Peter had released or contributed to thirteen albums and soundtracks. But with the show, Warren felt a different connection with his son—not just because of Peter's success, but through the effort they were making to be part of each other's lives.

When *Spirit* arrived in Philadelphia, it got the kind of recognition that Buffett understood: It was compared to "a Native American version of Philip Glass's dance performance/opera *1,000 Airplanes on the Roof*" with "guitar rolls that would put U2's The Edge to shame."[5] Its costly production, however, meant that even with high ticket prices, *Spirit* was losing money as a touring show. Peter put it on hiatus and while working on a new CD, *Gold Star,* the first in which he would perform as a singer, began to consider what to do about *Spirit*'s longer-term future.

Howie had published *On the Edge* and *Tapestry of Life,* books of his photographs, and had given exhibitions and lectures on his photography and work in the Third World. His foundation office still looked like a teenage boy's bedroom, with toy jeeps and backhoes and equipment reminiscent of his old teenage CB radio. But his business experience had ripened; he now served on the board of Lindsay Manufacturing and ConAgra and had faced the task of firing two CEOs. Savvy about money, he had kept his CCE stock and had invested in Berkshire Hathaway stock. This latter gesture bonded him to his father as nothing else could. Warren observed how much his son had settled down and matured in the past ten years. Howie, a "marshmallow" emotionally who had always been so close to his mother and had yearned for a warm connection to his father all his life, now saw an opportunity to have a different sort of relationship with him. He and Devon bought a house in Omaha so they could be nearby.

The events following Susie's death affected Astrid deeply. She had lost someone she considered a dear friend, then found out that Susie's life had run on parallel tracks—one of which had always been invisible to her. Years of staying behind the scenes out of deference to Susie and to a marriage that, however unconventional, had been held up to all as some kind of ideal suddenly was revealed as based on a falsehood. She knew Susie's mesmerizing power over Warren and had seen Warren's bathtub memory at work many times, but she was furious that Warren had allowed this to happen and felt betrayed and used. Belatedly, he recognized how high a price Astrid had paid for the arrangement he and Susie had worked out, the realities of which they had both avoided facing all these years. He took the blame and went to work setting things right. Gradually, as he passed through the stages of mourning, he brought Astrid more and more into his public life.

In December, Warren sent all of his grandchildren large checks as a Christmas gift. He had always paid for their college tuition, but he had never before given them money without any strings attached. He wrote each of them a letter offering advice on how to spend it. Do a little something fun, he said, and also pay down your mortgage. But I won't judge you if you blow it. You'll get another check next year.[6]

Buffett made two exceptions to the checks. He did not include Nicole and Erica Buffett, Peter's adopted daughters. Big Susie had loved Erica and Nicole. They had shown up at her funeral dressed in long flowing outfits and wailed like a pair of brunette banshees. Susie had left each of her "adored grandchildren," including Nicole and Erica, $100,000 "as a hug" in her will. But ten days after Susie's funeral, Warren had told Peter, "By the way, I don't consider the girls my grandchildren. I don't want them to expect anything from me in my will." Peter found this inexplicable. "Are you sure you want to do this?" he asked. His father was undeterred. That Susie had given the girls money and specified that they had the same status as her other grandchildren in her will seemed to have roused Warren's feelings of possessiveness about money. Peter let it go, however. He figured that if his father cut the girls out of his will, they would never find out the reason. And indeed, when Christmas came and they did not receive checks, they never found out.[7]

Warren spent New Year's with Astrid at the home of Sharon Osberg and her husband, David Smith, in

California's Marin County. He, Osberg, Gates, and the rest held one of their bridge orgies while Astrid shopped at Trader Joe's. At the beginning of November, Buffett had overcome some earlier reservations that Gates's powerful personality might dominate the Berkshire board, and had invited him to join it. Sharon and Bill had been talking for some time about the challenges that the Buffett Foundation faced. To give away several billion dollars a year after Warren was gone, it would have to change dramatically. No foundation in history had ever succeeded in such a transformation, because no foundation had ever tried. With one exception—the Gates Foundation—no other philanthropic organization had ever worked with such large sums.

Warren had also been thinking about the problem. In the fall, he had videotaped a question-and-answer session with his foundation trustees, making sure they understood his wishes and that these were memorialized. Like Walter Annenberg, he wanted to reduce the chance of being double-crossed after he was dead. After all, Boys Town had eventually double-crossed Father Flanagan. If even Father Flanagan wasn't sacred, then how to handicap the odds on Warren Buffett?

Early in 2005, Osberg "trumped up some pretense" and made a trip to Omaha to speak to Buffett. Given his admiration for Gates, she said, shouldn't he consider leaving his money to the Gates Foundation after he died? Though Buffett reacted noncommittally,[8] he had in fact been considering leaving at least some of the money to the Gateses since well before Susie died.

Charlie Munger had already been encouraging the idea. "It wouldn't surprise me if they had Gates running it eventually," he said shortly after Susie died. "It wouldn't surprise me at all. Warren doesn't like conventional pomposity. Gates is unconventional in the way he thinks, and he's fifty instead of seventy-four."[9]

For a long time Buffett had felt that society was best served if he carried on compounding the money, rather than giving it away, so that there would be more to give away. But delaying the gift until his death also amounted to the White Queen's "jam tomorrow"—a postponement in his struggle with endings, with loss, with death, with letting go. Over the years he had gradually evolved from a boy who stole his sister's bicycle and got other people to buy his barbells, from a father who said no to every request for money from his children, to a man who gave them a million dollars every five years on their birthday, a man who bought a pink heart-shaped diamond ring for his daughter. But he still had some issues with money, which, for example, seemed to have been triggered by Susie's will. Nonetheless, in a profound shift, he was working his way through the problem of whether to serve some of tomorrow's jam today.

That did not mean, however, that the encroachments of time would become easier for him. A year after Susie died, Buffett found himself shocked once again by the impending arrival of another birthday. Could he actually be three-quarters of a century old? He spoke of it with disbelief. Then he seized on examples of health and vitality lasting well into old age: his mother, who had lived to ninety-two; his aunt Katie, who had lived to age ninety-seven; Walter Schloss, who was still playing tennis at almost ninety. And of course, there was his icon, Rose Blumkin.

His seventy-fifth birthday party took place at Sharon and David's, with Astrid, Bill Gates, and his sister Bertie in attendance. His birthday cake was a white-chocolate replica of a $100 bill. On Saturday morning, Smith had arranged for Buffett to take on Ariel Hsing, a nine-year-old Chinese-American Ping-Pong champion. With the video camera rolling, the little girl crushed him. After a fierce bridge tournament the following morning, an artist whom Osberg and Smith had hired came over to amuse Buffett and Gates by trying to teach them the art of landscape painting. Buffett gamely swiped away with a brush at acrylics, but painting, unlike Ping-Pong, was not rhythmic and repetitious, and the results were hilarious. He produced a canvas adorned with trees that resembled brown lollipops. Meanwhile, the previous day's Ping-Pong game was fermenting an idea. Why not add the video of him getting trounced by Ariel Hsing to the ever-expanding movie at the shareholders' meeting?

Before 2003, Buffett's need for attention had been satisfied by a few interviews a year and the shareholder meeting. He had always been careful and strategic in his cooperation with the media (if not always forthcoming about just how cooperative he had been). But starting around the time of Susie's illness, for whatever reason, he had begun to need the mirror of media attention, television cameras especially, almost

like a drug. The intervals he could tolerate without publicity were growing shorter. He cooperated with documentaries, spent hours talking to Charlie Rose, and became such a regular on CNBC that it started to prompt puzzled queries from his friends.

The Buffett who so craved attention contrasted markedly with the Buffett who focused with unaltered intensity on Berkshire Hathaway. To see him flip from one mode into the other in half a second was head-spinning. In addition to adding Bill Gates to the board, he now set up a "whistleblower line" so that employees could report wrongdoing. And—in a major step toward the day when Berkshire's board would have to make decisions without him—he initiated separate meetings of the board without his presence. Yet he remained as focused on investing as he had been as a younger man.

Since the Federal Reserve's dramatic interest rate cuts in the wake of 9/11, the market had steadily recouped its losses until it was nearing bubble-era levels. Buffett wrote in his 2004 letters to shareholders: *"My hope was to make several multibillion dollar acquisitions that would add new and significant streams of earnings to the many we already have. But I struck out. Additionally, I found very few attractive securities to buy. Berkshire therefore ended the year with $43 billion of cash equivalents, not a happy position."* The following year, Berkshire used part of this money to make four small acquisitions—Medical Protective Company and Applied Underwriters, two insurance businesses; Forest River, a recreational-vehicle manufacturer; and Business Wire, which distributed public-relations material for corporations—and one larger acquisition, PacifiCorp, a major electric utility, for MidAmerican Energy. While MidAmerican had not yet spawned a series of huge acquisitions as Buffett had hoped, the wisdom of buying it had grown clearer. Oil prices had continued to rise. MidAmerican had a significant toehold in alternative energy. Its relationships with consumers and regulators were excellent. Its CEO, David Sokol, was often mentioned as a potential successor to Buffett, although Buffett himself was keeping his cards very close to the vest.

Buffett also used this report to reiterate that he was still down on the dollar, and thought it would decline. The dollar had strengthened since his first article, and now his view was being widely criticized in the financial press. He had reduced his currency bets in favor of buying foreign stocks, but nothing changed his view. And once again, he decried excessive executive compensation. On derivatives, a topic he now covered every year, Buffett wrote:

"Long ago Mark Twain said: 'A man who tries to carry a cat home by its tail will learn a lesson that can be learned in no other way.'...I dwell on our experiences in derivatives each year for two reasons. One is personal and unpleasant. Both Charlie and I knew at the time of the Gen Re purchase that it was a problem and told its management that we wanted to exit the business. It was my responsibility to make sure that happened. Rather than address the situation head-on, however, I wasted several years while we attempted to sell the operation. That was a doomed endeavor, because no realistic solution could have extracted us from the maze of liabilities that was going to exist for decades. Our obligations were particularly worrisome because their potential to explode could not be measured. Moreover, if severe trouble occurred, we knew it was likely to correlate with problems elsewhere in financial markets.

"So I failed in my attempt to exit painlessly, and in the meantime more trades were put on the books." Buffett was referring to a period during which he had hired a new manager, and briefly allowed him to expand the business. Some of these trades later proved costly to unwind. *"Fault me for dithering. (Charlie calls it thumb-sucking.) When a problem exists, whether in personnel or in business operations, the time to act is now.*

"The second reason I regularly describe our problems in this area lies in the hope that our experiences may prove instructive for managers, auditors, and regulators. In a sense, we are a canary in this business coal mine and should sing a song of warning as we expire…General Re was a relatively minor operator in the derivatives field. It has had the good sense to unwind its supposedly liquid positions in a benign market, all the while free of financial or other pressures that might have forced it to conduct the liquidation in a less than efficient manner. Our accounting in the past was conventional and thought to be conservative. Additionally, we know of no bad behavior by anyone involved.

"It could be a different story for others in the future. Imagine, if you will, one or more firms (troubles often

spread) with positions that are many multiples of ours attempting to liquidate in chaotic markets and under extreme, and well-publicized pressures. The time to have considered—and improved—the reliability of New Orleans's levees was before [Hurricane] Katrina."[10]

The general belief, however, continued to be that derivatives spread and reduced risk. In a market shoved upward by cheap debt and derivatives nearly day by day, low interest rates and the "securitization" of mortgages into derivatives were pumping a housing boom that would peak in 2006. By one estimate, total global leverage (debt) had quadrupled in less than a decade.[11] Buffett fretted occasionally that he might never again see the kind of home-run climate for investing that had blessed him in the 1970s. But he never stopped searching, he never stopped delving for ideas.

* * *

One day in 2004 he obtained from his broker a thick book, the size of several telephone directories stapled together. Its pages contained listings of Korean stocks. He had been scouring the global economy, looking for a country, a market, that was overlooked and undervalued. He had found it in Korea. Night after night, he leafed through the tome, studying column after column of numbers, page by page by page. But the numbers and their nomenclature puzzled him. He realized that he needed to learn a whole new language of business that described a different culture of commerce. So he got another book and figured out everything important there was to know about Korean accounting. That would reduce the odds of getting hornswoggled by the numbers.

Once he'd mastered the listings, he began sifting and sorting. It felt something like the old days back at Graham-Newman, when he sat next to the ticker machine clad in his cherished gray cotton jacket. Staring at hundreds of pages of numbers, he could pick out which were important and how they fell into a coherent pattern. Working from a list of several thousand Korean stocks, he quickly pared it down to a workable number; after making some notes on a yellow legal pad he kept going, just as he had when he'd paged through the *Moody's Manual,* looking for the gems amid the dreck—until finally he arrived at a much shorter list.

This winnowed-down list was so short that it could be contained on a single piece of legal-size paper. Sitting down with a visitor, he held out the list, which consisted of at most a couple of dozen companies. A few were large—among the largest in the world—but most were very small.

"Lookit," he said, "*this is how I do it. They are quoted in won. If you go to the Internet and look them up on the Korean stock exchange, they have numbers instead of ticker symbols, and they all end in zero unless it's a preferred stock, in which case you click in five. If they have a second class of preferred, you don't click in six, you click in seven. Every night you can go on the Internet at a certain time and look up some issues and it'll show you the five brokerage firms that would have been the largest buyers and the five that would have been the largest sellers that day. You have to set up a special account with a bank in Korea. That's not easy to do. I'm learning it as I go along.*

"It's like finding a new girl to me.

"These are good companies, and yet they're cheap. The stocks have gotten cheaper than five years ago, and yet the businesses are more valuable. Half of the companies have names that sound like a porno movie. They make basic products, like steel and cement and flour and electricity, which people will still be buying in ten years. They have a big market share in Korea, which isn't going to change, and some of these companies are exporting to China and Japan too. Yet for some reason, they haven't been noticed. Look, this flour company has more than its market value in cash, and it sells at three times earnings. I couldn't buy very much, but I got a few shares. Here's another one, a dairy. I could end up with nothing but a bunch of Korean securities in my personal portfolio.

"Now, I'm no expert on foreign currencies. But I'm comfortable owning these securities denominated in the

won right now.

"The main risk, and part of why the stocks are cheap, is North Korea. And North Korea is a real threat. If North Korea invaded South Korea, the whole world could go to hell. China, Japan, all of Asia would be drawn into a war. The consequences are almost unimaginable. North Korea is very close to having nuclear weapons. I regard it as one of the world's most dangerous countries. But I would make the bet that the rest of the world, including China and Japan, are simply not going to let the situation get to the point that North Korea makes a nuclear attack on South Korea anytime soon.

"When you invest, you have to take some risk. The future is always uncertain. I think a group of these stocks will do very well for several years. Some of them may not do well, but as a group, they should do very well. I could end up owning them for several years."

He had found a new game, a new puzzle to figure out. He wanted more of them and kept looking for opportunities with the same eagerness he'd once shown stooping for winning tickets at the racetrack.

* * *

In December 2005, in a talk at the Harvard Business School, he was asked about his hopes for the Buffett Foundation's impact on society, since it would someday become the best-funded philanthropy in the world. Buffett responded that his guess was that he was not doing society as great a favor by compounding any more. So he was thinking more these days about giving the money away.

Nobody said anything. Nobody seemed to realize that Buffett had just signaled a total shift in direction.

Later, in the same speech, he talked about the Gates Foundation. He admired Bill and Melinda Gates more than any other philanthropists, he said. Theirs was the most rational and best executed of any foundation policy he had ever seen. And he liked that they didn't want publicity for their philanthropy, did not want their name on any buildings.

By early 2006, his thoughts had begun to crystallize. While he was pleased with the job his kids were doing with their own foundations, the sense of safety and security that Big Susie had given him was not duplicable. This emotional force operated beyond a conscious level. His decision to leave her in charge of the money had never been based on a rational or calculated assessment of her qualifications as a philanthropist. With the accretion of a decades-long relationship, he had simply built up layers of personal trust and comfort in his wife's judgment and wisdom. Now that she was gone, everything was different. He mentioned his change of heart to Tom Murphy at Murphy's daughter's wedding. Out of the blue, he told Sharon Osberg. He was going to give the money away early. But he had only an idea, not a plan.

The plan, which was complicated, took months to work out in detail. The following spring, he started telling the people who were directly affected. "Brace yourself," he said when he sat down with Carol Loomis, one of the Buffett Foundation trustees. "The news was indeed stunning," she wrote.[12]

"I got lots of questions," he said about the conversations in which he made this startling announcement, "and some people had qualms about the plan initially because it was such an abrupt change from what they had been anticipating."[13] His sisters, on the other hand, were instantly enthusiastic when they found out. "This is the best idea you've had," wrote Bertie afterward, "since you pretended to have asthma to get sent home from Fredericksburg."[14] Doris—who knew from her Sunshine Lady Foundation how much work it was to give away even a few million dollars intelligently—thought it was a brilliant decision.[15]

On June 26, 2006, Buffett announced that he would give away eighty-five percent of his Berkshire Hathaway stock—worth $37 billion at the time—to a group of foundations over a number of years. No gift of this size had ever been made in the history of philanthropy. Five out of every six shares would go to the Bill and

Melinda Gates Foundation, already the largest charity in the world, in a historic marriage of two fortunes for the betterment of the world.[16] He was requiring that the money be spent as it was given, so that the foundations could not perpetuate themselves. To cushion the shock of losing the money that would someday have made their family foundation the largest in the world, Buffett divided the remaining shares, worth about $6 billion, among his children's individual foundations, each of which would receive shares worth $1 billion, and the Susan Thompson Buffett Foundation, which would receive shares worth $3 billion. None of the children had ever expected their personal foundations to reach such an enormous size, especially not while he was alive. At the date of the gift, the shares handed over in the first year's installment were worth $1.5 billion to the Gates Foundation, $50 million to each of his children's foundations, and $150 million to the Susan Thompson Buffett Foundation. Depending on Berkshire's stock price, those values could vary. As it turned out, they would increase. They would increase a lot.[17]

The man who was, at the time, the second richest person on earth was giving away his money without leaving a trace of himself behind. He had spent all his life rolling up the snowball as if it were an extension of himself; yet he would establish no Warren Buffett Foundation, no Buffett hospital wing, no college or university endowment or building with his name on it. To donate the money without naming something after himself, without controlling personally how it would be spent—to put the money in the coffers of another foundation that he had selected for its competence and efficiency, rather than creating a whole new empire—upended every convention of giving. No major donor had ever done such a thing before. "It was a historic moment in the field of philanthropy globally," said Doug Bauer of Rockefeller Philanthropy Advisors. "It's set a bar, a touchstone, for others."[18]

That Warren Buffett had done this was both surprising and predictable. An unconventional thinker and problem-solver, he was making a gesture against philanthropic waste and grandiosity. The Gates Foundation got its money, but had to spend each installment—and fast. The decision was unusual, highly personal, a form of teaching by example, and—naturally—enormously attention-getting. Meanwhile, in another sense, this was a classic Buffett no-lose deal. He had stunned the world by giving away almost all of his money by earmarking it, yet got to keep most of it until he actually transferred the shares. Nonetheless, in one stroke he had transformed a lifetime of grasping at money by committing to letting go—and had started to disburse it by the billions. The boy who would not let his family touch the chifforobe where he kept his hoarded coins had finally become a man who could entrust his tens of billions to someone else's hands.

In the announcement speech, Buffett said, *"Just over fifty years ago last month, I sat down with seven people who gave me one hundred and five thousand dollars to manage in a little partnership. And those people made the judgment that I could do a better job in amassing wealth for them than they could do themselves.*

"Fifty years after that, I sat down and thought about who could do a better job dispensing the wealth than myself. It's really quite logical. People don't often have that second sit-down. They are always saying, Who should handle my money? and they quite willingly turn their money over to people with a certain expertise. But they don't seem to think about doing that very often in the philanthropic world. They pick their old business cronies or whomever to administer wealth after they're gone, at a time when they won't even be able to observe what's happening.

"So I got very lucky, because philanthropy is harder than business. You are tackling important problems that people with intellect and money have tackled in the past and had a tough time solving. So the search for talent in philanthropy should be even more important than the search for talent in investments, where the game is not as tough."

Buffett then spoke of the Ovarian Lottery. *"I have been very lucky. I was born in the United States in 1930 and won the lottery the day I was born. I had terrific parents, a good education, and I was wired in a way that paid off disproportionately in this particular society. If I had been born long ago or in some other country, my particular wiring would not have paid off the way it has. But in a market system, where capital-allocation wiring is important, it pays off like no other place.*

"All along, I've felt the money was just claim checks that should go back to society. I am not an enthusiast for dynastic wealth, particularly when the alternative is six billion people who've got much poorer hands in life than we have, getting a chance to benefit from the money. And my wife agreed with me.

"It was clear that Bill Gates had an outstanding mind with the right goals, focusing intensely with passion and heart on improving the lot of mankind around the world without any regard to gender, religion, color, or geography. He was just doing the most good for the most people. So when the time came to make a decision on where the money would go, it was a simple decision."

The Gates Foundation followed a basic creed that Buffett shared: "Guided by the belief that every life has equal value," it worked to "reduce inequities and improve lives around the world" in the areas of global health and education. The Gateses saw themselves as "convenors," who brought together the best minds as advisers to work on permanent solutions to enormous problems.[19]

However much Buffett had changed and grown since Susie's death, he was still very much the same in certain ways. Allen Greenberg, who ran the Buffett Foundation, found out that the foundation he would be running would be a $6 billion foundation, not the $45 billion foundation for which he had been preparing, not from Buffett, but by proxy through Allen's new boss and ex-wife, Susie Jr. Warren had been unable to bring himself to confront Greenberg to tell him that all his plans and thinking about how to run the foundation in the future must be downsized. Susie Jr. had to convince Allen that this was in no way a grade on his performance. After his initial explosion over the fact that he hadn't heard the news from the source, he conceded that he would still be administering one of the world's ten largest charitable coffers, and peace ultimately reigned.

All involved had ample reason to behave well. Even though Buffett was giving away a vast sum, the money would be paid out over some years. And the stock he had not yet earmarked as a gift was estimated as worth more than $6 billion at the time. He still had plenty to give away.

The effects of Buffett's announcement were immediate and sizable. Jackie Chan, the Hong Kong actor, announced that he would give away half his wealth. Li Ka-shing, Asia's richest man, pledged a third of his $19 billion to his own charitable foundation. Carlos Slim, the Mexican communications monopolist, ridiculed Buffett and Gates for their philanthropy but, some months later, did a turnabout and announced that he, too, would begin giving money away. And the Gateses set up a new division within their foundation simply to handle people who wanted to make donations to them—such as a seven-year-old girl who sent the Gates Foundation her life savings of $35.

The newly enriched Gates Foundation was having a tectonic impact on the philanthropic world. Its "all-asset approach," which greatly resembled Buffett's ideas about concentration—and, indeed, his investing style—focused resources toward a short, carefully selected list of serious problems. That differed markedly from many other major foundations and community funds, at which a headquarters staff of philanthropoids circled around a series of supplicants, playing "eeny, meeny, miney, moe" as they doled out fragmentary sums. By the end of 2006, certain organizations such as the Rockefeller Foundation had begun modifying their policies to align them more closely with the Gates approach.[20]

Three thousand letters from needy people poured into Buffett's office after the Gates announcement, with more coming every day. They had no insurance and were overwhelmed by medical bills, or they had gotten injured on the job and their homes were being repossessed. Their children had cataclysmic health problems that required special care, which prevented them from making enough money to pay their mortgage. Or their boyfriends had gotten them pregnant, cheated them out of money, tricked them into assuming the boyfriend's debt, and then run off without paying child support. They were the losers in the Ovarian Lottery. Warren forwarded the letters to his sister Doris. Over the past ten years her Sunshine Lady Foundation, funded with the proceeds from Howard Buffett's trust, had helped thousands of victims of domestic violence, the severely disadvantaged, and families in crisis. He enclosed $5 million with the letters to help fund Doris's work.

She hired a group of women over age fifty to help sort out the letters where "bad luck rather than bad choices" had played a part, and relatively small amounts of money could give someone a hand up. They often

gave advice to the gamblers and credit-card addicts and people who just didn't want to work, but they never bailed out people who had other ways to solve their problems. And Doris never paid for everything. "I don't want to be their mommy," she said. She also made them write thank-you letters. Her type of philanthropy taught gratitude and self-respect.[21]

Buffett kept handing out more of his billions. He was already giving $5 million a year to Ted Turner's Nuclear Threat Initiative (NTI), which he considered the most important of the U.S. organizations focused on dealing with the world's nuclear threat, and he was willing to give more. Former Senator Sam Nunn, who ran NTI, had proposed a nuclear-fuel reserve to which countries could turn rather than developing their own nuclear enrichment programs, thereby reducing the likelihood of nuclear proliferation. Buffett felt that this idea had considerable merit, and he pledged $50 million as a matching gift if other funds could be raised. He would make huge amounts of money available to any antinuclear causes that seemed to him able to come up with realistic solutions to the problem.

Buffett also gave a donation to former President Jimmy Carter for the work of the Carter Center. After leaving office an unpopular president, Carter had become an example of someone fallen to the ninety-eighth floor who had looked forward, not back, rising to win the Nobel Peace Prize for his work in global health, democracy, and human rights. "Would love to have you join us in Ghana on Feb. 6–8, 2007," Carter wrote him back warmly after the gift, "to see our guinea worm work."[22] Buffett considered Carter a friend, but *nobody*—not Howie, not Big Susie, not even Bill Gates—could have gotten him on a plane to go see a guinea worm.[23]

Thus, for a third time he avoided a trip to Africa. Some things did not change. But time moved on, and other things did change.

Astrid was now Warren's official companion at events outside Omaha. She remained virtually unchanged—the same plainspoken, unpretentious person—but her world had expanded at stunning speed. She now socialized routinely with Bill and Melinda Gates. In the fall of 2005, she and Warren had flown to Tahiti to attend Bill Gates's fiftieth-birthday party, which took place on Paul Allen's sleek blue-and-white *Octopus,* one of the world's largest yachts. A billionaire's little-boy fantasy that belonged to the world's sixth-richest man, the *Octopus* had a movie theater, a recording studio, two helicopters, a sixty-three-foot tender, and a small submarine that could sleep eight people for two weeks on the ocean floor. She and Warren stayed in Paul Allen's mother's stateroom, a large suite with a walk-in closet and a library in the sitting room. "Oh, my God," says Astrid, "it was unbelievable. I have never experienced and will probably never experience a time like that again."

"It beats home" was Warren's reaction. He returned from the trip talking of the onboard bridge games.[24]

Two years after Susie's death, on his seventy-sixth birthday, Warren married Astrid in an unfussy civil ceremony at Susie Jr.'s house with no guests other than family. Astrid wore a simple turquoise blouse and white pants, and Warren wore a business suit. Tears welled from her eyes as he placed a huge diamond solitaire ring on her finger. Afterward, they went to the Bonefish Grill next to Borsheim's for dinner. Then they flew out to San Francisco for a wedding party and a traditional wedding cake at Sharon Osberg and David Smith's. The Gateses joined them for the celebration.

Warren Buffett, the not-simple man of simple tastes, now had the simple life of the man that he had always believed himself to be. He had one wife, drove one car, occupied one house that hadn't been redecorated in years, ran one business, and spent more and more time with his family.[25]

* * *

Buffett always said that trees don't grow to the sky. But new saplings form.

The question of who would succeed him had long vexed his shareholders.

He sometimes quipped that Berkshire could be run by someone working five hours a week, or by Charlie's bust of Ben Franklin, or by a cardboard cutout. He'd also joked about controlling it after his death: "Well, my backup plan is that I've figured out how to manage the company by seance." No one was fooled by his banter. On other occasions he was just as likely to tell his listeners: "My psyche is all wrapped up in Berkshire." And those who worked for and invested in Berkshire were all wrapped up in Buffett. He was not replaceable. And what would happen to all that capital? The question of either a dividend or a huge share repurchase would arise instantly when he was gone. His successor would have to change some things—for while parts of the Berkshire model should be preserved, other parts should not. The headquarters staff—famously minuscule—would probably grow as outsourced functions were reclaimed. Meanwhile, the presumption continued to be that all of the succession candidates already worked at Berkshire. But that wasn't necessarily true. In fact, the board would be obliged to consider outside candidates when the time came.

Buffett once said that he would be happy if Berkshire was still serving his shareholders thirty years after his death. That was his design. The elegant machine that he had created was built to last more than a generation beyond him. Yet to maintain it would be a remarkable accomplishment; he was the soul of that machine, and without him there would be a vacuum at the center, no matter what. For Buffett was the best there would ever be at the thing that only he could do perfectly, which was to be himself.

No group of shareholders in history had ever missed their CEO as much as Berkshire's shareholders would miss Buffett when he was finally gone. None had ever thought of their CEO as a teacher and a friend the way Buffett's shareholders had thought of him. The man who had made billions had touched thousands of people and had a relationship that felt personal to countless others whom he'd never even met or seen. But oddly enough, no matter how many fan letters Buffett got or how many autographs he signed, he never fully grasped how loved and admired he was. He got as excited about every letter and request for an autograph as though it were the first.

* * *

In July 2007, the Dow hit a new high of 14,000. Then it began to fall. House prices had already peaked, the way every great bubble peaks, partly because the Federal Reserve had finally started raising interest rates, and house prices had been sliding for some time. Unable to refinance, homeowners were defaulting on their mortgages at historically high rates.

The global margin call began in August. Over a period of eight months, the financial world imploded in a credit crisis of historic proportions. Not since the Great Depression had such a severe credit seizure occurred. Not since the Panic of 1907, when old J. P. Morgan himself had personally intervened to orchestrate a solution to the panic, had such extraordinary informal intervention in financial markets taken place as would occur in 2008.

The crisis progressed in fits and starts, with weeks and even months of apparent calm followed by convulsions that left victims scattered like broken shells on a beach. As it turned out, derivatives had indeed spread risk—banks reported tens of billions in losses; a hospital-management company in Australia lost a quarter of its investment portfolio; eight Norwegian towns lost millions on supposedly safe mortgages securities; estimates of total losses ranged from hundreds of billions to as high as $1 trillion from all sources combined. Like Long-Term Capital, the underlying bets were all made in the wrong direction. They had assumed a rational "efficient" market in which a decline in prices would be halted by cool-tempered, calculating buyers.

"They said all these derivatives made the world safer and spread the risk out. But it didn't spread the risk in terms of how people reacted to a given stimulus. Now, you could argue that it might be way better to have that credit with just five banks, who could all work, than to have it with thousands around the globe,

all of whom are going to rush out of it at the same time."

The Federal Reserve cut interest rates once again, and worked with other central banks to activate other emergency sources of financing,[26] yet the credit crisis continued to spread.

The reluctance to lend began to show signs of contagion. The Dow fell seventeen percent, to 11,740, from its October high. With each new announcement of a fire sale, bankruptcy, or collapse, the low rumbling panic grew louder. More people tried to sell assets behind the scenes and found no buyers; more lenders began to call in loans.

On Thursday, March 13, 2008, a run began, this time on Bear Stearns, the weakest of the investment banks, as its lenders started refusing to roll over its loans. In a near re-creation of the Salomon crisis seventeen years earlier, the following day, Friday, Bear nearly collapsed from lack of financing. But this time the Federal Reserve took the unprecedented step of guaranteeing $30 billion of Bear Stearns debt—the first time the Federal Reserve had ever bailed out an investment bank. Bear closed at $30 per share on Friday afternoon. Buffett pondered the situation that evening. Long-Term Capital Management's bailout had been a dress rehearsal—on a much smaller scale—for this moment.

"The speed with which fear can spread—nobody has to have an account at Bear Stearns, nobody has to lend them money. It's a version of what I went through at Salomon, where you were just inches away all the time from, in effect, an electronic run on the bank. Banks can't stand runs. The Federal Reserve hasn't bailed out investment banks before, and that was what I was sort of pleading back there in 1991 with Salomon. If Salomon went, who knows what kind of dominoes would set off. I don't have good answers to what the Fed should do. Some parts of the market are pretty close to paralyzed. They don't want contagion to spread to what they would regard as otherwise sound institutions; if Bear fails and two minutes later, people worry that Lehman fails, and two minutes after that they worry that Merrill will fail, and it spreads from there."

The rational Buffett tried to unlock the puzzle embedded in the risky choices facing the Federal Reserve. It had no really good options. Either it allowed a financial meltdown or it took actions that would promote inflation by adding to downward pressure on the dollar. *"It could all end on a dime if they flooded the system with enough liquidity, but there are consequences to doing that. If dramatic enough, the consequences would be the immediate expectation of huge inflation. A lot of things would happen that you might not like. The economy is definitely tanking. It's not my game, but if I had to bet one way or another —everybody else says a recession will be short and shallow, but I would say long and deep.*

"You absolutely never want to be in a position where tomorrow morning you have to depend on the kindness of strangers in the financial world. I spent a lot of time thinking about that. I never want to have to come up with a billion dollars tomorrow morning. Well, a billion I could. But any significant amount. Because you just cannot be sure of anything. You have to think about things that have never happened before. You always want to have plenty of money around."

All weekend the regulators and bankers toiled, much as they had years earlier on Salomon. This time, however, it was with the almost certain knowledge that the bank's failure would have catastrophic consequences to the global financial system. Whether Bear Stearns deserved its fate was not at issue. Just before the Tokyo markets opened on Sunday, the Federal Reserve announced that it had orchestrated a sale of Bear to investment bank JP Morgan Chase for a pittance. Buffett had been offered the deal, but thought it contained too much open-ended risk.

The same day that the Bear bailout was announced, the Federal Reserve, attempting to calm panic and prevent a run on Lehman Brothers, did indeed begin to flood the system with liquidity: It offered to let the largest investment banks borrow up to $200 billion at its "discount window," using mortgage-backed securities as collateral. Use of the discount window, formerly a privilege restricted to commercial banks, had never before been extended to investment banks, which are not subject to the reporting and capital regulations that are a quid pro quo for such borrowing. The move didn't calm the panic; then the government made the offer open-ended. The government was going to accept bad loans as collateral; it began to take a

variety of once again unprecedented steps to try to unfreeze the mortgage markets and help struggling lenders. Market pundits praised the Fed's rescue of Bear and pump-priming of the investment banks as the only way to prevent contagion, but argued whether these actions would hasten an economic recovery or only prolong the pain and plant the seeds of the next bubble. And for seven months, while these financial disasters were unfolding, the value of the dollar—which had been declining for some time—had continued to slide. Meanwhile, oil prices spiked: By July 2008, spot oil traded at $144 per barrel.

* * *

"It's a weird time. We've gone into a different world, and nobody knows what will happen to the world, but Charlie and I looked at the downside, and nobody else did, very much." Deleveraging could be a painful process in which banks, hedge funds, financial-services companies, municipalities, the construction and travel industries, consumers, and indeed the whole economy withdrew—fast and painfully or slow and painfully—from the intoxicant of cheap debt. Asset returns could well stay subpar for a long time—what Charlie Munger called a "4% return world." Beware of scams and charlatans, said Munger; they might proliferate because the easiest way to turn four percent into sixteen percent is thievery.

In the midst of all the chaos of the spring of 2008, there sat Buffett, whose thinking about value and risk had not changed in the nearly sixty years of his career. There are always people who say that the rules have changed. But it only looks that way, he said, if the time horizon is too short.

There was Buffett, stooping for cigar butts as if he were a child again. He took no joy from others' pain, but in the business of life, everyone chooses a side to play. Times like these brought out his sharpest skills, the joy of doing what he loved most, true to himself. *"We're selling some credit default swaps [insurance against firms going bankrupt] in situations where it is underpriced. I'm sitting here with my newest daily paper that I read, the Bond Buyer, on my lap. Who the hell would have thought that I'd be reading the Bond Buyer every day? The Bond Buyer costs $2,400 a year. I felt like asking for a daily subscription rate. We get these bid lists on failed auctions of tax-exempt money-market funds and other auction rate bonds and have been just picking them off. The same fund will trade at the same time on the same day from the same dealer at interest rates of 5.4 percent and 8.2 percent. Which is crazy, they're the exact same thing, and the underlying loans are perfectly good. There is no reason why it should trade at 820, but we bid 820 and we may get one, while concurrently someone else buys exactly the same issue at 540. If you'd told me ten weeks ago I'd be doing this, I'd have said that's about as likely as me becoming a male stripper. We've put $4 billion into this stuff. It's the most dramatic thing I've seen in my life. If this is an efficient market, dictionaries will have to redefine 'efficient.'"*

Who would think that tax-exempt money-market funds could become cigar butts?

"But the most immediate and doable opportunity is weird things in the credit market. And the biggest opportunity is in mortgages. But I don't understand them well enough, although I'm learning them so that I can understand them. And if I think I've got enough margin of safety, I'll do it." But the average person should not do it.

"No. Stocks are the things to own over time. Productivity will increase and stocks will increase with it. There are only a few things you can do wrong. One is to buy or sell at the wrong time. Paying high fees is the other way to get killed. The best way to avoid both of these is to buy a low-cost index fund, and buy it over time. Be greedy when others are fearful, and fearful when others are greedy, but don't think you can outsmart the market.

"If a cross-section of American industry is going to do well over time, then why try to pick the little beauties and think you can do better? Very few people should be active investors."

If there is any lesson the life of Warren Buffett has shown, it is the truth of that.

* * *

Trees don't grow to the sky, but Buffett felt he could help new saplings take root. He never lost his focus on business, but as he contemplated the ideal way to spend the rest of his life, once again he was roused by the urge to preach. For some time he had been giving talks to college students around the United States, traveling to their schools, welcoming them to Omaha. He liked talking to students because they were not hardened in their habits, still young enough to take full advantage of what he said.

"I packed my little snowball very early, and if I had packed it ten years later, it would have been way different than where it stands on the hill right now. So I recommend to students that if you start out a little ahead of the game—it doesn't have to be a lot, but it's so much better than starting out behind the game. And credit cards really get you behind the game."

As early as 2002, feeling a sense of urgency, he had begun to pick up speed with his talks to the students. They came from MIT. Northwestern. The University of Iowa. The University of Nebraska. Wesleyan. The University of Chicago. Wayne State. Dartmouth. The University of Indiana. The University of Michigan. Notre Dame. Columbia. Yale. The University of Houston. Harvard/ Radcliffe. The University of Missouri. The University of Tennessee. UC Berkeley. Rice. Stanford. Iowa State. The University of Utah. Texas A&M University. Much of his message was that getting rich quick wasn't the worthiest goal in life. Ironically, it was his own competitiveness and the urge of humankind to worship the rich and famous that made his audience seek him out to hear these words. Like everything else in his life, the visits from students started to snowball.

In 2008, he was crowned the richest man on earth for the first time. By then, the students were coming from Asia, from Latin America, arriving in Omaha in groups of two or three schools at a time, in packs sometimes of more than two hundred, sometimes on several days a month.

The students who made the pilgrimage to visit the Sage of Omaha got the full treatment (excepting only that Buffett did not go to their hotels in person and leave bound volumes of his annual reports for them at the front desk at four-thirty a.m. The Internet now did that job for him). They toured Rose Blumkin's Nebraska Furniture Mart and roamed the aisles of Borsheim's. Buffett met them in the office. Some days now, he abandoned his gray suits and tight collars, and looked relaxed in casual dress. Their questions often ventured far afield from business. What is the purpose of life? some of them wanted to know. He answered this question the same way he answered the business ones—in mathematical terms.

As he had told the students at Georgia Tech when Susie was in the hospital, recovering from her surgery: *"The purpose of life is to be loved by as many people as possible among those you want to have love you."*

How should society be ordered? He told them about the Ovarian Lottery. How do I find the right spouse? Marry up, he said. (He wasn't talking about money.) How do I know what is right? Follow your Inner Scorecard. What should I do about a career? Find something you are passionate about. I only work with people I like. If you go to work every morning with your stomach churning, you're in the wrong business.

He told them about the genie. Treat your body like the only car you'll ever own: Baby that car, garage it every night, buff every dent, and change its oil every week. Then he took them out to lunch or dinner at Gorat's and everyone scarfed down salty T-bones and double hash browns at the scuffed linoleum tables as if the genie had exempted them temporarily from his rules. As they ate, they would leap up, one after another, and jockey to have a picture taken with Warren Buffett. Someday, maybe in forty years, their grandchildren would believe them when they claimed to have talked and sat and dined with the Oracle of Omaha.

What he was teaching were the lessons that had emerged from the unfolding of his own life.

In that unfolding, he admits to ambition, but he denies that there was ever a plan. He finds it hard to acknowledge his own powerful hand as the creator of the sweeping canvas that is his masterpiece. As he tells the story, a series of happy accidents built Berkshire Hathaway; a moneymaking machine sprang up without design. Its elegant structure of true partnership with like-minded shareholders built on what Munger called a

"seamless web of deserved trust," with an investment portfolio buried inside an interlocked set of businesses whose capital could be moved at will, all of them turbocharged with "float"—all this had come about, he claims, simply as a reflection of his personality. The final product was a model that could be analyzed and understood, yet few did and, for the most part, nobody coattailed it. What people paid attention to was simply how rich he was. Indeed, as much as he wanted them to study his model, Buffett sometimes inadvertently discouraged it; he also wanted people to believe that he just tap-danced into work every day and had fun.

But that would be the less flattering version.

The truth is this.

When Warren was a little boy fingerprinting nuns and collecting bottle caps, he had no knowledge of what he would someday become. Yet as he rode his bike through Spring Valley, flinging papers day after day, and raced through the halls of The Westchester, pulse pounding, trying to make his deliveries on time, if you had asked him if he wanted to be the richest man on earth—with his whole heart, he would have said, *Yes.*

That passion had led him to study a universe of thousands of stocks. It made him burrow into libraries and basements for records nobody else troubled to get. He sat up nights studying hundreds of thousands of numbers that would glaze anyone else's eyes. He read every word of several newspapers each morning and sucked down the *Wall Street Journal* like his morning Pepsi, then Coke. He dropped in on companies, spending hours talking about barrels with the woman who ran an outpost of Greif Bros. Cooperage or auto insurance with Lorimer Davidson. He read magazines like the *Progressive Grocer* to learn how to stock a meat department. He stuffed the backseat of his car with *Moody's Manuals* and ledgers on his honeymoon. He spent months reading old newspapers dating back a century to learn the cycles of business, the history of Wall Street, the history of capitalism, the history of the modern corporation. He followed the world of politics intensely and recognized how it affected business. He analyzed economic statistics until he had a deep understanding of what they signified. Since childhood, he had read every biography he could find of people he admired, looking for the lessons he could learn from their lives. He attached himself to everyone who could help him and coattailed anyone he could find who was smart. He ruled out paying attention to almost anything but business—art, literature, science, travel, architecture—so that he could focus on his passion. He defined a circle of competence to avoid making mistakes. To limit risk he never used any significant amount of debt. He never stopped thinking about business: what made a good business, what made a bad business, how they competed, what made customers loyal to one versus another. He had an unusual way of turning problems around in his head, which gave him insights nobody else had. He developed a network of people who—for the sake of his friendship as well as his sagacity—not only helped him but also stayed out of his way when he wanted them to. In hard times or easy, he never stopped thinking about ways to make money. And all of this energy and intensity became the motor that powered his innate intelligence, temperament, and skills.

Warren Buffett was a man who loved money, a man for whom the game of collecting it ran in his veins as his lifeblood. That love kept him going: buying little stocks like National American, selling GEICO to have the money to buy something cheaper, pushing at the boards of companies like Sanborn Map to do the right thing for shareholders. It had made him independent and competitive enough to want his own partnership and say no to the chance to be a junior partner running Ben Graham's old firm. It made him tough enough to shut down Dempster's distribution center and fire Lee Dimon; it gave him the determination to break Seabury Stanton. It had tamed his impatience and made him listen when Charlie Munger insisted that they buy great businesses, even though listening to other people went against his very grain. It stiffened his will to survive the SEC investigation of Blue Chip and to break the strike at the *Buffalo News*. It made him an implacable acquirer. It also led him to lower his standards from time to time when his turf dried up. Yet it saved him from serious losses by keeping him from abandoning his margin of safety.

Warren Buffett was a timid man who shied from confrontation and needed people to cushion him from life's rougher edges. His fears were personal, not financial; he was never timid when it came to money. His passionate yearning to be rich gave him the courage to ride his bicycle past the house with the awful dog and throw those last few newspapers in Spring Valley. It sent him to Columbia, seeking Ben Graham, after

Harvard turned him down. It made him put one foot in front of the other, calling on people as a prescriptionist, while they rejected him over and over. It gave him the strength to return to Dale Carnegie after losing his courage the first time. It forced him through the decisions in the Salomon crisis to make his great withdrawal from the Bank of Reputation. It lent him the dignity to face years of almost intolerable criticism without counterattacking during the Internet bubble. He had spent his life contemplating, limiting, and avoiding risk, but in the end he was braver than he realized himself.

Warren Buffett would never call himself courageous; he would cite his energy, focus, and rational temperament. Above all, he would describe himself as a teacher. All his adult life he had sought to live up to the values instilled in him by his father: He said that Howard taught him that the "how" mattered more than the "how much." To hold his ruthlessness in check wasn't an easy lesson for him. It helped that he was fundamentally honest—and that he was possessed by the urge to preach. "He deliberately limited his money," says Munger. "Warren would have made a lot more money if he hadn't been carrying all those shareholders and had maintained the partnership longer, taking an override." Compounded over thirty-three years, the extra money would have been worth many billions—tens of billions—to him.[27] He could have bought and sold the businesses inside Berkshire Hathaway with a cold calculation of their financial return without considering how he felt about the people involved. He could have become a buyout king. He could have promoted and lent his name to all sorts of ventures. "In the end," says Munger, "he didn't want to do it. He was competitive, but he was never just rawly competitive with no ethics. He wanted to live life a certain way, and it gave him a public record and a public platform. And I would argue that Warren's life has worked out better this way."[28]

It was the will to share what he knew in an act of sheer generosity that made him spend months writing his annual letter to the shareholders; his joy in showmanship that made him want a mobile home at his shareholder meeting; his pixieish sense of fun that led him to endorse a mattress. It was his Inner Scorecard that made him cling to his margin of safety. It was pure love that turned him into what Munger called "a learning machine." It was his handicapping skill that let him use that knowledge to figure out what the future might bring. It was his urge to preach that made him want to warn the world of dangers to come.

* * *

When Warren reached his seventy-seventh birthday, he mused that he had lived one-third of the lifespan of the United States. His age weighed on him; it was getting harder for him to read all day long the way he used to, since one of his eyes was getting a little weak. So he read more efficiently. He had finally given in and agreed to wear hearing aids. His voice turned gravelly faster than it once did. He tired more easily. But his business judgment was still quick and sharp.

He wished he could have the next ten years' worth of newspapers delivered to his doorstep right now. The years ahead weren't endless, but with luck they could be long. Trees don't grow to the sky, but he wasn't scraping the horizon yet. Another new person, another investment, another idea always waited for him. The things left to learn far exceeded what he already knew.

"The snowball just happens if you're in the right kind of snow, and that's what happened with me. I don't just mean compounding money either. It's in terms of understanding the world and what kind of friends you accumulate. You get to select over time, and you've got to be the kind of person that the snow wants to attach itself to. You've got to be your own wet snow, in effect. You'd better be picking up snow as you go along, because you're not going to be getting back up to the top of the hill again. That's the way life works."

The snowball he had created so carefully was enormous by now. Yet his attitude toward it remained the same. However many birthdays lay ahead, he would always be astonished each time the calendar turned, and as long as he lived, he would never stop feeling like a sprout. For he wasn't looking backward to the top of the hill. It was a big world, and he was just starting out.

Afterword

On October 23, 2006, Berkshire Hathaway became the first American stock to trade above $100,000 per share. By the end of 2007, BRK traded above $140,000 per share, which valued Berkshire as a company at more than $200 billion. Berkshire was the world's most respected company, according to a *Barron's* survey.[1] Buffett's personal fortune exceeded $60 billion.

For a decade, BRK stock had compounded at slightly over twelve percent—a rate that some might compare unfavorably to Buffett's early years, when he achieved an average twenty-seven percent return. Trees don't grow to the sky, he always said; as Berkshire's capital grew, the climb would get steeper. But investors in Berkshire had only gratitude for the "lower" returns. Those who bought an index of the market had just suffered through what the *Wall Street Journal* called a "lost decade" in which the S&P 500 index had gone exactly nowhere, falling below its level of April 1999.[2] Buffett's talk at Sun Valley was unfolding along the lines he had discussed; the period after the 1999 stock market bubble had burst was now the third-longest stretch in the past hundred years when the market made no progress. Buffett still said that stocks are the best long-time investment—as long as they were bought at the right price, and for a low fee. As of early 2008, he was buying stocks, but not with great enthusiasm. Sooner or later the market's weighing machine would catch up with its voting machine. In the meantime, he continued to mostly buy businesses.

Buffett had added several new directors to the Berkshire board since Bill Gates and Charlotte Guyman. In the 2002 chairman's letter he had invited shareholders to nominate themselves for the director position. The letters had come pouring in, and Buffett—of course—collected them; he was amused, entertained, and in a few instances impressed by the people who'd nominated themselves. Still, in the end, he had added Don Keough and Tom Murphy that year instead of a self-nominated candidate. The process had revealed, however, the highly personal—to say the least—corporate governance at Berkshire. Berkshire had agreed, in response to an SEC request, to adopt a formalized process for shareholders to nominate directors. In 2007, Berkshire added another woman, Yahoo! chief financial officer Susan Decker, to his board, again tilting the board demographic to a younger age.

Along the way, Buffett had found that he liked the idea of advertising for people to nominate themselves for jobs. He had always preferred that people ask him for things, rather than the other way around. In his 2006 letter to shareholders, prodded by Bill Gates, he had pointed out that Lou Simpson's "top-notch" record was at risk if anything happened to both Simpson and himself, and advertised for a successor to Simpson. Send in your résumé, Buffett said. The number one thing he and Munger were looking for was somebody who understood risk. Seven hundred proposals arrived from all over the world. One person explained, "I am said to be selfish and also ruthless" various people went on at length—great length—about why they felt they were cut from the same cloth as Buffett—without giving any real qualifications for the job; and many, many people wrote saying they had no requisite experience, but wanted to be Buffett's apprentice, understudy, or protégé. He collected all these letters in huge boxes in the boardroom before eventually filing them away. In the end he chose four candidates who were already successful and managing money; they now waited in the wings.

* * *

After the awkward 2004 shareholder meeting, Buffett moved the business section of the meeting to late in the afternoon in 2005. That year, and in 2006, no activists had shown up. But just before the 2007 meeting, a billboard appeared hovering over a major freeway in Omaha that said "Will your conscience let you off on a technicality?" The question referred to a proposed resolution to force Berkshire to sell its PetroChina investment; PetroChina's parent company, Chinese National Petroleum Company (CNPC), was implicated in funding Chinese sponsorship of genocide in Darfur. While not required to put the resolution on the ballot,

Buffett did so, and allowed a vigorous airing of the Darfur issue at the shareholder meeting.

The supervoting provisions of the A shares meant that the resolution could never pass, but Buffett cared deeply what his shareholders thought of him and the company. The question was mooted when, by the end of 2007, for reasons that he said were unrelated to the Darfur question, Buffett sold the PetroChina investment. It had cost Berkshire just under $500 million; the company netted a profit of $3.5 billion. Energy prices continued to soar afterward, and he was accused of selling too soon. Meanwhile, the shareholder meetings remained a model of decorum; more protestors had begun to arrive at the microphone, where they were greeted respectfully. Then the festival went on.

* * *

Berkshire had bought a number of other new businesses. The most significant included Iscar, a highly automated Israeli maker of metal cutting tools, in 2006, Berkshire's first acquisition of a non-U.S. company. For Fruit of the Loom, he bought Russell Athletics. He took control of Equitas, assuming the old claims of Lloyd's of London in exchange for $7 billion worth of insurance float. Berkshire also bought electronics distributor TTI. In 2007, Buffett invested in the stock of BNSF (Burlington Northern Santa Fe) railroad, setting off a minor frenzy for railroad stocks. One investment that Buffett did not make was in the *Wall Street Journal.* He had never owned stock in his favorite newspaper by 2007 when press lord Rupert Murdoch offered to buy it. Some *Journal* editors and staffers hoped that Buffett would save the paper in the cause of quality journalism. But he would not pay a premium price for a rich man's trophy, even to become the savior of quality journalism. Long ago, in the days of the *Washington Monthly,* the unsentimental side of Buffett had divorced his fondness for journalism from his wallet. Nothing had changed that.

In 2008, candymaker Mars, Inc. announced that it was buying Wm. Wrigley Jr. Company for $23 billion. Buffett had agreed, through Berkshire, to lend $6.5 billion as part of the deal, in an arrangement facilitated by Byron Trott, his investment banker at Goldman Sachs. Trott had been responsible for several of Berkshire's acquisitions. He understood how Buffett thought, and Buffett said that he had Berkshire's interests at heart. "I've been conducting a seventy-year taste test," Buffett said about Wrigley's. The Wrigley deal harkened back to the old days when he had refused to sell a single stick of gum to Virginia Macoubrie.

Buffett's first thought after agreeing to make the loan—of course—had been to call Kelly Muchemore Broz and ask her to set aside a little space at the Berkshire meeting, in case Mars and Wrigley wanted to sell some products to his shareholders. The shareholder meeting turned into a mini-festival of candy and chewing gum. Attendance set a new record; 31,000 people came.

Also in 2008, Berkshire had acquired Marmon, a small industrial conglomerate that made electrical components, railroad tank cars and containers, truck flatbeds, industrial equipment and materials, and the like, with revenues of $7 billion. The seller was the Pritzker family, which had decided to break up its conglomerate to settle family squabbling that had broken out after the death of Buffett's old coattailing hero Jay Pritzker in 1999.

* * *

Buffett had seen many examples of family squabbles among the rich when the patriarch died; he was comfortable that his own arrangements would prevent that. Little squabbling was going on within the Buffett family in the wake of Susie's will and the gift to the Gates Foundation. Howie and Susie Jr. were doing what they loved: farming and giving money away. Peter was in discussions with Robert Redford to bring *Spirit: The Seventh Fire* to Redford's Sundance resort as an annual summer event. He was also in talks with sponsors in Germany and in China about overseas tours of the show, and was about to release his latest CD, *Imaginary Kingdom.*

The one exception to the harmony was Buffett's adopted granddaughter Nicole Buffett. In 2006 Nicole had

participated in Jamie Johnson and Nick Kurzon's documentary *The One Percent,* a story about the children of the rich. In the documentary, Nicole unwisely positioned herself as a spokesman for the unspoiled Buffett way of life. The documentary, which appeared shortly before Buffett's donation to the Gates Foundation, resulted in follow-up appearances on CNN, National Public Radio, and an invitation to appear on an *Oprah* episode about social class in America. Buffett's reaction was harsh; he had sent word to Nicole that he didn't consider her his granddaughter, and if asked, would say so. Nicole told Oprah, "It's a weird thing to be working for a very wealthy family considering I do come from one of the wealthiest families in America." She said she was "at peace with" not having inherited wealth—apparently a reference to the small amounts that Susie had left her grandchildren—but added, "I do feel that it would be nice to be involved with creating things for others with that money and to be involved in it. I feel completely excluded from it." The "poor little me" aspect of her interview was her second mistake.

Afterward, she sent Buffett a letter asking why he had disavowed her. In August 2006, he wrote back[3] offering her good wishes, told her that she had reason to be proud of her accomplishments, and gave her some worthwhile advice. Positioning herself with people as a member of the Buffett family was a mistake, he wrote. *"If you do so, it will become your primary identity with them. People will react to you based on that 'fact' rather than to who you are or what you have accomplished."* He also wrote, *"I have not legally or emotionally adopted you as a grandchild, nor have the rest of my family adopted you as a niece or cousin…. It is simply a fact that just as [your mother] is in no respect my daughter-in-law, her children are not my grandchildren."*

Despite the controlled tone of the letter, Nicole had wounded him in his most tender spot—his identity and that of his family. Otherwise, he might have thought twice about sending the letter, which backfired badly on him. Nicole may have been wrong, but she seemed sincere. Instead of reining her in, the rejection letter set her off on another round of interviews that made Buffett look like Ebenezer Scrooge; one result was a Page Six story in the *New York Post* ("Buffett to Kin: You're Fired!")[4] portraying him as taking vengeance on her for participating in the documentary. To the man who had worked so hard for a lifetime never to alienate anyone, it was a painful irony—but perhaps the story would have a happier ending someday. Buffett had been able to make up with Mrs. B; he could make up with anybody who wanted to make up with him, given enough time.

* * *

By 2008, Coca-Cola's stock was up forty-five percent from its low, to $58. Profits had risen steadily under CEO Neville Isdell. He had settled the Department of Justice investigation and closed a $200 million discrimination lawsuit over racial bias. Buffett left the board in February 2006. His last Coca-Cola shareholder meeting had been another carnival of activists, but nobody had to be wrestled to the floor, and the tension was set to a lower thermostat. In 2007, Isdell had announced that he was retiring. The new CEO, Muhtar Kent, was responsible for the company's successful push into non-cola drinks, where Coca-Cola had been lagging and was strategically off course.

"I always used to tell Gates that a ham sandwich could run Coca-Cola. And it was a damn good thing, too, because we had a period there a couple of years ago where, if it hadn't been that great of a business, it might not have survived."

* * *

General Re, Berkshire's other problem-child investment, had benefited from favorable insurance markets after September 11. It reported the most profitable results in its history in 2007, with $2.2 billion of pretax operating earnings.[5] By then Gen Re had earned back the losses and restored its balance sheet to a better condition than when Buffett bought it. From $14 billion of float at the end of 1998, a decade later General Re had $23 billion of float and $12.5 billion of capital. It was operating with nearly one-third fewer employees

and the company had been transformed.[6] Since 2001, General Re had produced a 13.4 percent annualized return on capital; a number that would be higher, CEO Joe Brandon noted in a letter to Buffett, were it not for "a number of infamous legacy issues."[7] These included $2.3 billion of losses related to insurance and reinsurance sold in prior years, and $412 million of charges for the run-off of Gen Re Securities, the company's derivatives unit. Nevertheless, General Re had escaped the fate of Salomon and overcome the stigma of its Scarlet Letter. Buffett was finally able to praise it and its senior managers in some depth in his 2007 shareholder letter, saying "the luster of the company has been restored" by "doing first-class business in a first-class way."[8]

One large and lingering trace of General Re's former problems remained. Its last act of ignominy before the change of management in 2001 had been to create a Salomon-type scandal of its own in which it broke Buffett's rule of not "losing reputation for the firm." This was the event that would, as it unfolded, adjust Buffett's perception to the new legal enforcement environment, in which showing extreme contrition and cooperation produced no advantage in how a company was treated by prosecutors. Extreme contrition and cooperation were now the expected minimum standard—in part because of Salomon. Anything short of that—for a company to defend itself or its employees, for example—could be considered grounds for indictment.

General Re had become entangled in legal and regulatory problems when New York Attorney General Eliot Spitzer started investigating the insurance industry over "finite" reinsurance in 2004. "Finite" reinsurance has been defined in many ways, but, put simply, it is a type of reinsurance used by the client mainly for financial or accounting reasons—either to bolster its capital or to improve the amount or timing of its earnings. While usually legal and sometimes legitimate, finite reinsurance had been subject to such widespread abuse that accounting rulemakers have spent decades trying to rein it in.

Before working on Wall Street, I was one of those trying to rein it in, as a project manager at the Financial Accounting Standards Board, the primary accounting rulemaker. I helped to draft rules that specify how to account for finite reinsurance. After leaving the FASB, I became a financial analyst. While working at PaineWebber, I covered the stock of General Re at the time it was acquired by Berkshire Hathaway. I first met Warren in connection with the acquisition, and subsequently began to cover Berkshire. Warren had not previously spoken with Wall Street analysts, but he made an exception for me. He told the *New York Times* that he liked the way I thought and wrote.

In 2003, after I started working on this book, both General Re and Ajit Jain's Berkshire Re were condemned in a special investigation for selling finite reinsurance that allegedly contributed to the collapse of an Australian insurer, HIH.[9] Two years later, General Re was accused of fraud by insurance regulators and policyholders in connection with the failure of a Virginia medical malpractice insurer, the Reciprocal of America. While the Department of Justice investigated the allegations extensively, no charges were brought against Gen Re or any of its employees.[10] That same year, Eliot Spitzer's investigation of the insurance industry prompted an investigation by Berkshire's law firm, Munger, Tolles & Olson, which discovered that six employees, including General Re's former CEO, Ron Ferguson, and its former chief financial officer, Elizabeth Monrad, had allegedly conspired with a customer, AIG, to aid and abet an accounting fraud. The alleged fraud was executed through a reinsurance transaction designed to deceive investors and Wall Street analysts (including me) by transferring $500 million in reserves to AIG to window-dress AIG's balance sheet. In June 2005, two of the alleged conspirators, Richard Napier and John Houldsworth, plea-bargained and testified for the prosecution, while five others—four senior managers from Gen Re and one from AIG—were indicted on conspiracy and fraud charges.

The trial, conducted in federal court in Hartford, Connecticut, in January and February 2008, was noteworthy for the prosecution's use of taped telephone conversations in which several of the defendants had repeatedly discussed the transaction in colorful terms. The defendants invoked the "Buffett defense," saying that Buffett had approved the outlines of the structured transaction and was involved in setting the fee. Buffett was not charged with any wrongdoing, and prosecutors said he was not involved. General Re's CEO Joseph Brandon, who was listed among various unindicted co-conspirators in the case, was repeatedly cited by the defendants' lawyers as having knowledge of the deal. He had cooperated with federal prosecutors without asking for

immunity. General Re chief operating officer Tad Montross was also named by the defendants as having knowledge of the transaction. Neither he nor Buffett, however, was listed among the unindicted co-conspirators. None of the three men testified in the case.

I was subpoenaed by the prosecution as both a fact witness and expert and testified that I would "almost certainly" have not upgraded AIG to a "strong buy" in early 2000 had I known the company's true financial position. Under cross-examination I testified about my acquaintance with all of the defendants. I know some of them better than others, but have always had high regard for all of them. I also testified about my relationship with Warren, that I was writing this book, and that Joe Brandon has been a close friend since 1992. I wasn't asked about Tad, but I'm also acquainted with him.

In February 2008, all five defendants were convicted on all counts in the indictment. They face sentencing as this book goes to print; the potential sentences range up to life imprisonment, although the odds seem to be that the terms will be much lower than that. The convicted defendants have said that they will appeal.

Currently I am also under subpoena from former AIG CEO Hank Greenberg in a related case brought against him by the New York Attorney General's office. At this writing, Berkshire Hathaway has settled with neither the SEC nor the Department of Justice. In April 2008, General Re's CEO Joe Brandon resigned to help facilitate a settlement between the company and government authorities.

Accordingly, I cannot comment further on the case at this time. Warren Buffett's personality, however, is laid out in this book; readers should be able to form their own opinion about whether he would participate in or condone the aiding and abetting of a fraud committed by a customer of Berkshire Hathaway.

Finally, New York Governor Eliot Spitzer, who launched the investigation, resigned only a month after the defendants in the AIG trial were convicted, following revelations that he patronized the prostitutes of an escort service called the Emperor's Club.

Notes

Chapter 1

1. This quote, or its variation, "Behind every great fortune there is a great crime," is cited endlessly without a specific source: for example, in Mario Puzo's *The Godfather* and in commentary on *The Sopranos* and on the Internet bubble. This pithier version condenses what Honoré de Balzac actually wrote in *Father Goriot*: "The secret of a great success for which you are at a loss to account is a crime that has never been found out, because it was properly executed."

Chapter 2

1. Herbert Allen made an exception for Ken Auletta, the first and only time a writer was allowed to attend and write about Sun Valley. "What I Did at Summer Camp" appeared in the *New Yorker,* July 26, 1999.

2. Interview with Don Keough. Other guests commented on Buffett's role at Sun Valley as well.

3. Except Donald Trump, of course.

4. Dyan Machan, "Herbert Allen and His Merry Dealsters," *Forbes,* July 1, 1996.

5. Elephant herds are matriarchal, and the females eject the males from the herd as soon as they are old enough to become dominant and aggressive. Then the solitary males approach herds of females, trying to mate. However, this isn't exactly the way human elephant-bumping works.

6. Allen & Co. does not release the numbers, but the conference was said to cost around $10 million, more than $36,000 per invited family. Whether $5 or $15 million, that pays for a lot of fly-fishing and golf over the course of a long weekend. Much of the money pays for the conference's exhaustive security and logistics.

7. Buffett likes to tell a joke about having worked his way up to this exalted state: starting from a trailer, then the lodge, then a lesser condo, and so forth.

8. Herbert Allen's son Herbert Jr. is usually referred to as "Herb." However, Buffett refers to Herbert Sr. as "Herb" as a mark of their friendship, as do a few other people.

9. This portrait of Sun Valley and the impact of the dotcom billionaires is drawn from interviews with a number of people, including investment managers with no ax to grind. Most asked not to be named.

10. Allen & Co. and author estimate. This is the total assets under management of money managers who attend the conference, added to the personal fortunes of the guests. It represents their total economic power, not their consumption of wealth. By comparison, the capitalized value of the U.S. stock market at the time was about ten trillion dollars.

11. $340,000 per car in Alaska, Delaware, Hawaii, Montana, New Hampshire, both Dakotas, Vermont, Wyoming, and throw in Washington, D.C., to boot (since the District of Columbia is not a state).

12. Interview with Herbert Allen.

13. Buffett had spoken twice before at the Allen conference, in 1992 and 1995.

14. Buffett and Munger preached plenty to their shareholders at Berkshire Hathaway annual meetings, but this preaching to the choir doesn't count.

15. Al Pagel, "Coca-Cola Turns to the Midlands for Leadership," *Omaha World-Herald,* March 14,1982.

16. Buffett's remarks have been condensed for readability and length.

17. PowerPoint is the Microsoft program most often used to make the slide presentations so ubiquitous in corporate America.

18. Interview with Bill Gates.

19. Corporate profits at the time were more than 6% of GDP, compared to a long-term average of 4.88%. They have since risen to over 9%, far above historic standards.

20. Over long periods the U.S. economy has grown at a real rate of 3% and a nominal rate (after inflation) of 5%. Other than a postwar boom or recovery from severe recession, this level is rarely exceeded.

21. American Motors, smallest of the "Big Four" automakers, sold out to Chrysler in 1987.

22. Buffett is speaking metaphorically here. He admits to investing in things with wings a time or two, and not with good results.

23. Buffett first used this story in his 1985 chairman's letter, citing Ben Graham, who told the story at his tenth lecture in the series Current Problems in Security Analysis at the New York Institute of Finance. The transcripts of these lectures, given between September 1946 and February 1947, can be found at http://www.wiley.com//legacy/products/subject/finance/bgraham/ or in Benjamin Graham and Janet Lowe, *The Rediscovered Benjamin Graham: Selected Writings of the Wall Street Legend.* New York: Wiley, 1999.

24. A condensed and edited version of this speech was published as "Mr. Buffett on the Stock Market,"

Fortune, November 22, 1999.

25. PaineWebber-Gallup poll, July 1999.

26. Fred Schwed Jr., *Where Are the Customers' Yachts? or, A Good Hard Look at Wall Street.* New York, Simon & Schuster, 1940.

27. Interview with Bill Gates.

28. Keynes wrote: "It is dangerous…to apply to the future inductive arguments based on past experience, unless one can distinguish the broad reasons why past experience was what it was," in a book review for Smith's *Common Stocks as Long-Term Investments* in *Nation and Athenaeum* in 1925 that later became the preface for Keynes, *The Collected Writings of John Maynard Keynes. Vol. 12, Economic Articles and Correspondence; Investment and Editorial*. Cambridge: Cambridge University Press, 1983.

29. The comedian Mort Sahl used to end his routine by asking, "Is there anyone I haven't offended?"

30. According to a source who overheard them and would rather remain nameless.

31. Interview with Don Keough.

Chapter 3

1. Interview with Charlie Munger.

2. Parts of Munger's explanation are taken from three lectures on the psychology of human misjudgment, and his commencement address to the Harvard School on June 13, 1986, both as found in *Poor Charlie's Almanac, The Wit and Wisdom of Charles T. Munger,* edited by Peter D. Kaufman. Virginia Beach, Va.: Donning Company Publishers, 2005. The rest is from interviews with the author. Remarks have been edited for brevity and clarity.

3. Interview with Charlie Munger.

4. Munger's driving habits are described in Janet Lowe, *Damn Right! Behind the Scenes with Berkshire Hathaway Billionaire Charlie Munger*. New York: John Wiley & Sons, 2000.

5. Required to produce a doctor's note to prove he was blind in one eye and qualified for a special license at the California Department of Motor Vehicles, Munger refused and offered to take out his glass eye instead.

6. Munger's doctor used an older type of surgery that had a higher complication rate. Rather than blame the doctor, Munger claims he should have done more research on doctors and types of surgery himself.

7. Buffett's interest in such products as pig stalls and egg counters is limited; he reviews some of these statistics in a summarized form.

8. Despite the complaints of passengers, Buffett has never, to the author's knowledge, been responsible for an accident, only near heart attacks.

9. Beth Botts, Elizabeth Edwardsen, Bob Jensen, Stephen Kofe, and Richard T. Stout, "The Cornfed Capitalist," *Regardie's,* February 1986.

Chapter 4

1. Buffett predicted up to 6% growth in the market per year, but gave historical ranges of no growth, and the underlying math suggested that figure could be high. The 6% was a hedged bet.

2. S&P is Standard & Poor's Industrial Average, the most widely used measure of the overall stock market's performance. S&P includes reinvested dividends. Berkshire does not pay a dividend. All numbers are rounded.

3. "Toys 'R' Us vs. eToys, Value vs. Euphoria," Century Management, http://www.centman.com/Library/Articles/Aug99/ToysRUsvsEtoys.html. In March 2005, Toys "R" Us agreed to a takeover offer from private equity firms Kohlberg Kravis Roberts & Co., Bain Capital, and real estate group Vornado Realty Trust in a deal valued at $6.6 billion.

4. Interview with Sharon Osberg.

5. Buffett, speaking to the Oquirrh Club, "An Evening with Warren Buffett," October 2003.

Chapter 5

1. Warren's sister Doris Buffett, the family genealogist, has done extensive research on the Buffett family tree. This abbreviated account of the early ancestors is drawn from her research.

2. Either Nathaniel or Joseph.

3. This was the largest and finest of the livery stables in town, with seventy horses at its peak, boasting sleighs, buggies, a circus bateau, and even a hearse. It prospered for a number of years but disappeared sometime around the early days of the automobile. "Six Generations Prove That Buffett Family Is Really Here to Remain," *Omaha World-Herald,* June 16, 1950.

4. Orville D. Menard, "Tom Dennison…The Rogue Who Ruled Omaha," *Omaha,* March 1978. John Kyle Davis, "The Gray Wolf: Tom Dennison of Omaha," *Nebraska History,* Vol. 58, No. 1, Spring 1977.

5. "Dry Law Introduced as Legislators Sing," *Omaha World-Herald,* February 1, 1917.

6. "Omaha's Most Historic Grocery Store Still at 50th and Underwood," *Dundee and West Omaha Sun,* April 25, 1963.

7. Zebulon Buffett, letter to Sidney Buffett, December 21, 1869.

8. Sidney's store was originally named Sidney H. Buffett and Sons, where both brothers, Ernest and Frank, worked. The store originally sat at 315 South 14th Street downtown, where it stayed until its closing in 1935. Frank took over as sole proprietor after Sidney's death in 1927. In 1915, Ernest opened a branch store, which moved west to 5015 Underwood Avenue in Dundee in 1918. (At the time Dundee was a separate town, eventually annexed by Omaha.)

9. A third child, named Grace, died in 1926. Three more, George, Nellie, and Nettie, died at young ages in the nineteenth century.

10. Warren Buffett quoting Charlie Munger.

11. According to Doris Buffett, she was born Daisy Henrietta Duvall and began to call herself Henrietta (after her mother) rather than Daisy by the time she arrived in Omaha.

12. Charles T. Munger letter to Katharine Graham, November 13, 1974.

13. Ernest Buffett letter to Barnhart & Son, February 12, 1924.

14. Interview with Charlie Munger. His mother told him this story, although, he notes, "she may have been garnishing it just a bit." But others recall the notebook.

15. In letters like one to his son Clarence in January 1931, he analyzed the effect of railroad automation on unemployment and suggested that the best solution for the Great Depression was a great public-works project. It seems ironic that he and his son Howard became such foes of Roosevelt when he initiated the Works Progress Administration after the next election.

16. Ernest Buffett letter to Fred and Katherine Buffett, undated, "ten years after you were married," circa June 1939.

17. He died young, in 1937, in an auto accident in Texas.

18. Coffee with Congress, radio interview with Howard, Leila, Doris, and Roberta Buffett, WRC Radio, October 18, 1947, Bill Herson, moderator. (Note: This description is based on a tape of the broadcast.)

19. Interview with Doris Buffett.

20. Based primarily on family files.

21. Bryan's "Cross of Gold" speech, delivered on July 9, 1896, has been called the most famous political speech in American history. Bryan is best remembered for opposing the gold standard and for getting involved in the Scopes case, where the famous lawyer Clarence Darrow made him look foolish for testifying against teaching evolution in schools. In fact his interests were broader and less extreme and his contemporary influence greater than he is generally remembered for today.

22. Family files. Bernice blamed her father for marrying into a family with genetic mental defects, begetting children who would suffer the result.

23. Leila was a freshman at Nebraska during the 1923–24 academic year, according to the Cornhusker yearbook, when Howard was a junior. On Coffee with Congress, Howard noted that they met in the fall of 1923, when Leila was 19. Because students usually entered college at 17, this suggests she worked for about two years before starting. She pledged Alpha Chi Omega as a freshman in the 1923–24 school year, but was still classified as a freshman in 1925, suggesting she went home to work on the newspaper and returned in the spring of 1925.

24. Probably in fall 1923.

25. Howard was secretary of the Innocents (*Daily Nebraskan,* September 27, 1923). This group persisted for many more years, until, as Buffett puts it, "the day came when they couldn't find thirteen who were innocent."

26. Coffee with Congress.

27. Interview with Roberta Buffett Bialek.

28. At Harry A. Koch Co., whose motto was "Pays the Claim First." He made $125 a month.

29. Receipt from Beebe & Runyan, December 21, 1926, annotated by Leila.

30. They were married December 26, 1925.

31. February 12, 1928.

32. Howard became a deacon in 1928 at the age of 25.

33. Address to the American Society of Newspaper Editors, Washington, D.C., January 25, 1925.

Chapter 6

1. Even so, only three in a hundred Americans owned stocks. Many had borrowed heavily to play the market, entranced by John J. Raskob's article, "Everybody Ought to Be Rich" in the August 1929 *Ladies' Home Journal* and Edgar Lawrence Smith's proof that stocks outperform bonds (*Common Stocks as Long-Term Investments.* New York: The MacMillan Company, 1925).

2. "Stock Prices Slump $14,000,000,000 in Nation-Wide Stampede to Unload; Bankers to Support Market Today," *New York Times,* October 29, 1929; David M. Kennedy, *Freedom from Fear, The American People in Depression and War, 1929–1945.* New York: Oxford University Press, 1999; John Brooks, *Once in Golconda, A True Drama of Wall Street; 1920–1938.* New York: Harper & Row, 1969. Roger Babson's famous warning, "I repeat what I said at this time last year and the year before, that sooner or later a crash is coming," was useless.

3. Kennedy, *Freedom from Fear.* Kennedy notes that interest payment on the national debt rose from $25 million annually in 1914 to $1 billion annually in the 1920s due to World War I, accounting for one-third of the federal budget. The actual budget in 1929 was $3.127 billion a year (*Budget of the U.S. Government, Fiscal Year 1999—Historical Tables,* Table 1.1—Summary of Receipts, Outlays, and Surpluses or Deficits: 1789–2003. Washington, D.C.: Government Printing Office).

4. By the bottom tick on November 13, the market had lost $26 to $30 billion of its roughly $80 billion precrash value (Kennedy, op. cit., Brooks, op. cit.). World War I cost approximately $32 billion (Robert McElvaine, *The Great Depression: America, 1929–1941.* New York: Three Rivers Press, 1993; also Hugh Rockoff, *It's Over, Over There: The U.S. Economy in World War I,* National Bureau of Economic Research Working Paper No. 10580).

5. Charlie Munger reported that all the Buffetts, including those employed elsewhere, worked at the store, in a letter to Katharine Graham dated November 13, 1974.

6. Coffee with Congress.

7. Roger Lowenstein, *Buffett: The Making of an American Capitalist.* New York: Doubleday, 1996.

8. Roger Lowenstein, in *Buffett,* cites Leila Buffett's memoirs for this fact.

9. Ernest Buffett letter to Mr. and Mrs. Clarence Buffett and Marjorie Bailey, August 17, 1931.

10. "Union State Bank Closes Doors Today: Reports Assets in Good Condition; Reopening Planned," *Omaha World-Herald,* August 15, 1931. Characteristically, the story understated the bank's dire situation. It went into reorganization under regulatory supervision and filed for bankruptcy.

11. Howard had borrowed $9,000 to buy $10,000 of stock in the bank. The stock was now worthless. The house and mortgage were in Leila's name. Standard Accident Insurance Company, Howard Homan Buffett application for fidelity bond.

12. "Buffett, Sklenicka and Falk Form New Firm," *Omaha Bee News,* September 8, 1931. Statement of Buffett, Sklenicka & Co. for the month ending September 30, 1931.

13. The wave crested in December 1931 with the failure of the Bank of the United States, an official-sounding institution that had nothing to do with the government. The $286 million collapse broke a record, took down 400,000 depositors, and was understood by everyone—in one sense or another—as a failure of public trust (Kennedy, *Freedom from Fear*). It kicked the quivering legs out from under the banking system and sent the already battered economy into collapse.

14. Although its return on revenues was low, the firm by then was consistently profitable and would remain so, with the exception of a couple of months.

15. By the end of 1932, Howard Buffett was averaging 40–50% more in commissions than in 1931, based on financial statements of Buffett, Sklenicka & Co.

16. Charles Lindbergh Jr., "The Little Eaglet," was kidnapped on March 1, 1932. His body was found on May 12, 1932. Many parents in the 1920s and 1930s were preoccupied with kidnapping, a fear that actually began with the Leopold and Loeb case in 1924 but peaked with the Lindbergh baby. An Omaha country-club groundskeeper claimed he was kidnapped and robbed of $7. In Dallas a minister faked his own kidnapping, trussing himself to his church's electric fan (*Omaha World-Herald,* August 4, 1931, and June 20, 1931).

17. According to Roberta Buffett Bialek, Howard once had rheumatic fever, which may have weakened his heart.

18. Interview with Doris Buffett.

19. Interview with Doris Buffett. Warren also remembers this.

20. Interview with Roberta Buffett Bialek.

21. Interviews with Jack Frost, Norma Thurston-Perna, Stu Erikson, Lou Battistone.

22. The correct clinical term for Leila's condition is unknown, but it may have boiled down to a literal pain in the neck: occipital neuralgia, a chronic pain disorder caused by irritation or injury to the occipital nerve, which is located in the back of the scalp. This disorder causes throbbing, migrainelike pain, which originates at the nape of the neck and spreads up and around the forehead and scalp. Occipital neuralgia can result from physical stress, trauma, or repeated contraction of the neck muscles.

23. Interview with Katie Buffett. This may have been while pregnant with either Warren or Bertie.

24. Interview with Katie Buffett.

25. "Beer Is Back! Omaha to Have Belated Party," *Omaha World-Herald,* August 9, 1933; "Nebraska Would Have Voted Down Ten Commandments, Dry Head Says," *Omaha World-Herald,* November 15, 1944; "Roosevelt Issues Plea for Repeal of Prohibition," Associated Press, July 8, 1933, as printed in *Omaha World-Herald*.

26. U.S. and Nebraska Division of Agricultural Statistics, *Nebraska Agricultural Statistics, Historical Record 1866–1954.* Lincoln: Government Printing Office, 1957; *Almanac for Nebraskans 1939,* The Federal Writers' Project Works Progress Administration, State of Nebraska; Clinton Warne, "Some Effects of the Introduction of the Automobile on Highways and Land Values in Nebraska," *Nebraska History* quarterly, The Nebraska State Historical Society, Vol. 38, Number 1, March 1957, page 4.

27. In Kansas, a banker sent to foreclose on a farm turned up dead, shot full of .22-and .38-caliber bullets and dragged by his own car. "Forecloser on Farm Found Fatally Shot," *Omaha World-Herald,* January 31, 1933. See also "'Nickel Bidders' Halted by Use of Injunctions," *Omaha World-Herald,* January 27, 1933; "Tax Sales Blocked by 300 Farmers in Council Bluffs," *Omaha World-Herald,* February 27, 1933; "Penny Sale Turned into Real Auction," *Omaha World-Herald,* March 12, 1933; "Neighbors Bid $8.05 at Sale When Man with Son, Ill, Asks Note Money," *Omaha World-Herald,* January 28, 1933, for examples of the mortgage crisis.

28. "The Dust Storm of November 12 and 13, 1933," *Bulletin of the American Meteorological Society,* February 1934; "60 Miles an Hour in Iowa," special to the *New York Times,* November 13, 1933; Waudemar Kaempffert, "The Week in Science: Storms of Dust," *New York Times,* November 19,1933.

29. Also cited from Leila's memoirs in Roger Lowenstein's *Buffett.*

30. From the *Almanac for Nebraskans 1939*. Sponsored by the Nebraska State Historical Society, which also

contained some tall tales such as the idea of scouring pots by holding them up to a keyhole.

31. "Hot Weather and the Drought of 1934," *Bulletin of the American Meteorological Society,* June–July 1934.

32. Grasshoppers are the informal state mascot; Nebraska terms itself the "Bugeater State." Long before the Cornhuskers name, the University of Nebraska football team called itself the "Bugeaters" in 1892 in honor of its flying guests. Nebraska football fans still informally call themselves Bugeaters. Grasshoppers love drought conditions and contribute to soil erosion by devouring every living plant down to the black earth. From 1934–1938 the estimated national cost of grasshopper destruction was $315.8 million (about $4.7 billion in 2007 dollars). The region encompassing Nebraska, the Dakotas, Kansas, and Iowa was the epicenter of grasshopper infestation. See *Almanac for Nebraskans 1939*; also Ivan Ray Tannehill, *Drought: Its Causes and Effects.* Princeton: University Press, 1947.

33. "Farmers Harvest Hoppers for Fish Bait," *Omaha World-Herald,* August 1, 1931.

34. As asserted in Franklin Delano Roosevelt's inaugural address (March 4, 1933)—he was speaking, however, of economic paralysis.

35. Lacking electronic security and thoughtful cash controls, banks were more vulnerable to robbery in those days, and an epidemic of bank robberies took place in the 1930s.

36. Several Buffetts, including Howard and Bertie, contracted polio. Another epidemic took place in the mid-1940s. People born after the vaccine became available in the 1950s and '60s may find the chronic anxiety this disease engendered difficult to comprehend, but it was very real at the time.

37. In 1912, twenty-five people were injured when a howling wind derailed a train near North Loup, Nebraska, according to the *Almanac for Nebraskans 1939*.

38. Ted Keitch letter to Warren Buffett, May 29, 2003. Keitch's father worked at the Buffett store.

39. Interview with Doris Buffett.

40. Howard wanted his children to attend Dundee's Benson High School instead of Central, where he had suffered from snobbery.

41. Marion Barber Stahl was a partner in his own firm, Stahl and Updike, and had become counsel to the *New York Daily News,* among other clients. He and his wife, Dorothy, lived on Park Avenue and had no children. Obituary of Marion Stahl, *New York Times,* November 11, 1936.

42. Interview with Roberta Buffett Bialek.

43. Interviews with Roberta Buffett Bialek, Warren Buffett, Doris Buffett.

44. Interview with Doris Buffett.

45. September 9, 1935, at the Columbian School.

46. Interview with Roberta Buffett Bialek as well as Warren Buffett.

Chapter 7

1. Adults interviewed by the author who attended Rosehill as children recall it as idyllic, yet the year before Warren started first grade, Rosehill parents pleaded for relief from overcrowded rooms and a "mud hole" playground. They were told not to expect help "until the sheriff collects back taxes." "School Plea Proves Vain," *Omaha World-Herald,* January 22, 1935.

2. Interview with Roberta Buffett Bialek.

3. Walt Loomis, the teacher of the boxing lesson, was a big kid, about Doris's age.

4. Interview with Roberta Buffett Bialek.

5. Stella's doctors referred to her as schizophrenic, while noting she suffered annually from predictable periods of agitation and confusion, and indicated that her personality did not deteriorate as expected in schizophrenia. Based on family history and Bernice's statement that other older relatives in addition to Stella's mother, Susan Barber, were "maniacal" and mentally unstable, bipolar disorder may be suspected as the real condition. This disease was barely understood, to say the least, in the 1930s and '40s.

6. From an entry in Leila's "day book."

7. In an interview, one of his classmates, Joan Fugate Martin, recalled Warren showing up on his rounds periodically to "shoot the breeze" in her driveway.

8. Interview with Roberta Buffett Bialek.

9. Interviews with Stu Erickson, Warren Buffett.

10. According to his Rosehill transcript, Warren was promoted to 4B in 1939.

11. Interview with Stu Erickson.

12. *"My appendectomy was the high point of my social life,"* Buffett says.

13. *"I wish one of those nuns had gone bad,"* he says today.

14. Rosco McGowen, "Dodgers Battle Cubs to 19-Inning Tie," *New York Times,* May 18, 1939. (Warren and Ernest did not stay for the entire game.)

15. Ely Culbertson, *Contract Bridge Complete: The New Gold Book of Bidding and Play.* Philadelphia: The John C. Winston Co., 1936.

16. This explanation of bridge was provided by Bob Hamman, eleven-time world champion and #1-ranked bridge player in the world between 1985 and 2004. Hamman appears at the Berkshire shareholders' meeting.

Chapter 8

1. Warren bought the gum for three cents a pack from his grandfather.

2. Interviews with Doris Buffett, Roberta Buffett Bialek.

3. Two presidents, Ulysses S. Grant and Theodore Roosevelt, had previously sought election to a third term. Both were defeated.

4. The Trans-Lux Corporation placed the first ticker-tape projection system at the New York Stock Exchange in 1923. The system worked something like a fax machine. Trans-Lux knew a good thing when it saw one: The company's own stock was listed on the American Stock Exchange in 1925, and Trans-Lux remains the oldest listed company on the Amex today.

5. Frank Buffett had reconciled with Ernest on Henrietta's death in 1921 and ran the other Buffett store. John Barber was a real estate agent.

6. Pyramid schemes are frauds that promise investors impossible returns, using cash from later investors to pay off earlier investors and create the appearance of success. To keep going, the scheme has to grow like a pyramid, but their geometrically compounding structure guarantees eventual failure and discovery.

7. Alden Whitman, "Sidney J. Weinberg Dies at 77; 'Mr. Wall Street' of Finance," *New York Times,* July 24, 1969; Lisa Endlich, *Goldman Sachs: The Culture of Success.* New York: Knopf, 1999.

8. That Weinberg cared about his opinion mattered more than the opinion itself; Buffett has no recollection of which stock he recommended to Weinberg.

9. Buffett later said, in an interview, that these were the words that ran through his head—"that's where the money is"—although at the time he was not familiar with the famous quote attributed to bank robber Willie Sutton.

10. Almost a decade later, he would lower the age to 30 while talking to his sister Bertie, who was 14 or 15 at the time. Interview with Roberta Buffett Bialek.

11. Buffett believes he overheard his father talking about the stock, which traded on the "Curb Exchange," where brokers gathered in the street (later organized into the American Stock Exchange).

12. From the records of Buffett, Sklenicka & Co.

Chapter 9

1. "All these handouts in Europe are being used by the politicians to retain and expand their own power." "U.S. Moving to Socialism," citing Howard Buffett, *Omaha World-Herald,* September 30, 1948.

2. Roosevelt said this in Boston on October 30, 1940, while campaigning for his third term, fourteen months before Pearl Harbor.

3. Leila Buffett letter to Clyde and Edna Buffett, undated but approximately 1964.

4. United States Department of Agriculture and Nebraska Department of Agriculture, *Nebraska Agricultural Statistics (preliminary report) 1930.* Lincoln, Government Printing Office, 1930, p. 3.

5. Buffett's impression of 1940s South Omaha was vivid: *"If you walked around down there in those days, believe me, it was not conducive to eating hot dogs."*

6. John R. Commons, "Labor Conditions in Meat Packing and Recent Strike," *The Quarterly Journal of Economics,* November 1904; Roger Horowitz, "'Where Men Will Not Work': Gender, Power, Space and the Sexual Division of Labor in America's Meatpacking Industry, 1890–1990," *Technology and Culture,* 1997; Lawrence H. Larsen and Barbara J. Cottrell, *The Gate City: A History of Omaha.* Lincoln: The University of Nebraska Press, 1997; Harry B. Otis, with Donald H. Erickson, *E. Pluribus Omaha: Immigrants All.* Omaha: Lamplighter Press (Douglas County Historical Society), 2000. Horowitz, commenting specifically on Omaha, points out that slaughterhouses in 1930 were still organized much the same way as portrayed in Upton Sinclair's 1906 novel *The Jungle.*

7. In 2005, the GAO cited "respiratory irritation or even asphyxiation from exposure to chemicals, pathogens, and gases" as a current occupational risk for industry workers in GAO 05-95 *Health and Safety of Meat and Poultry Workers.* See also Nebraska Meatpacking Industry Workers Bill of Rights (2000), a "voluntary instrument" whose "reach has been modest," according to Joe Santos of the state labor department, as cited by Human Rights Watch in its report *Blood, Sweat and Fear: Workers' Rights in the U.S. Meat and Poultry Industry,* December 2004.

8. This description of Washington in wartime owes much to David Brinkley's *Washington Goes to War* (New York: Alfred A. Knopf, 1988).

9. With so many men off to war, 15% of the city's buses and trolleys sat idle. The Capital Transit company refused to hire blacks as conductors and motormen after it hired one black conductor in 1943 and the white conductors walked off the job. (Over the course of 1944 and 1945, J. Edgar Hoover, Director of the FBI, reported to the Attorney General that "If the company employs Negroes as operators there will be an immediate 'wildcat' strike…and the inevitable result would be the complete paralysis of the transportation system in the District of Columbia." (Office memorandums re: racial conditions in Washington, D.C., September 5, 1944, and December 9, 1944, from Georgia State Special Collections.)

10. Howard University students used "stool-sitting" on two occasions: In April 1943, at Little Palace cafeteria, until the proprietor changed his policy, and a year later, with fifty-six students at Thompson's Restaurant, where some whites joined the cause, a crowd gathered, and the police got Thompson's to serve everyone, temporarily. (Flora Bryant Brown, "NAACP Sponsored Sit-Ins by Howard University Students in Washington, D.C., 1943–1944," *The Journal of Negro History, 85.4,* Fall 2000).

11. Dr. Frank Reichel headed American Viscose.

12. Interviews with Doris Buffett, Roberta Buffett Bialek, Warren Buffett.

13. Buffett is probably embellishing a little here with hindsight.

14. Interview with Roberta Buffett Bialek.

15. Gladys, formerly known as Gussie, changed her name to Mary sometime during this period. Warren vainly pursued a romance with her daughter Carolyn, who later married Buffett's friend Walter Scott.

16. Warren claims it was Byron's idea. Byron claims it was Warren's idea. Stu says he can't remember.

17. Joan Fugate Martin, who remembers the date, in an interview corroborated the story. She called the boys perfect gentlemen, but had nothing to add about their self-confessed awkwardness.

18. Interviews with Stu Erickson and Byron Swanson, who supplied various details of the story.

19. The phone number is from a letter from Mrs. Anna Mae Junno, whose grandfather used to work as a meat cutter.

20. The lowly stock boy was Charlie Munger.

21. Interview with Katie Buffett.

22. Ibid. Leila had a striver's fascination with social hierarchies and upward mobility.

23. *"You might argue that it was working in my grandfather's grocery store that fostered a lot of desire for independence in me,"* Buffett says.

24. This letter, which was at one time one of Buffett's treasured heirlooms, resided in his desk drawer for many years, written on a piece of yellow paper. He can no longer locate it. Through a trade association, Ernest lobbied against chain stores and worked for legislation that would levy special taxes on them—in vain.

25. Interview with Doris Buffett.

26. Warren Buffett letter to Meg Greenfield, June 19, 1984.

27. Sadly, no one in the family can locate a copy of this manuscript today.

28. Spring Valley marketing brochure. The place had its own coat of arms.

29. "Women Accepted for Volunteer Emergency Service." Before the WAVES, the Navy accepted women only as nurses.

30. Alice Deal Junior High School was named after the first junior high principal in Washington, D.C.

31. Buffett is reasonably sure Ms. Allwine was his English teacher and that *"she had good reason"* for her low opinion of him. *"I deserved it,"* he says.

32. Interview with Casper Heindel.

33. *"I'm not sure I paid tax on that either,"* Warren adds.

34. In her memoir, Leila wrote that Warren would not let her touch the money.

35. Roger Bell, who confirms the story in an interview, was saving war-bond stamps until he had enough to buy an actual bond, and cashed them in to fund the trip. "I told my mother we were going, but she didn't believe me," he says.

36. Interview with Roger Bell.

37. From Buffett's 1944 report cards.

38. Based on comments in his report cards.

39. Interview with Norma Thurston-Perna.

40. Queen Wilhelmina owned stock in the Dutch holding company that had bought The Westchester.

41. He collected the bus passes from various routes. *"They were colorful. I collected anything."* Asked if anyone else in his family ever collected anything: *"No. They were more popular."*

42. Customers also discarded old magazines in the stairwells, and Warren would pick them up.

43. While Warren recalls the story, it was Lou Battistone who remembered its fascinating details.

44. Interview with Lou Battistone.

Chapter 10

1. This particular prank letter circulated widely in the mid-twentieth century. Where the idea originated and from whom Warren might have gotten a copy is unknown. What makes this fondly recalled prank funny (putting aside whether or how often he actually perpetrated it and upon whom) is how it plays to the commonplace interest in hidden lives and feet of clay. Its essence is a tribute to the power of shame.

2. The impact of Sears, the first department store in Tenleytown, and its unusual rooftop parking lot are described in Judith Beck Helm's *Tenleytown, D.C.: Country Village into City Neighborhood.* Washington, D.C.: Tennally Press, 1981.

3. In an interview, Norma Thurston-Perna substantiates the essential elements of this story, recalls her boyfriend Don Danly "hooking" from Sears with Warren, adds that to some extent this behavior continued into high school, and mentions how annoyed she was to discover that an impressive honeysuckle fragrance and bath powder set given to her by Don as a birthday gift turned out to have been stolen from Sears.

4. A letter from Suzanne M. Armstrong to Warren Buffett, December 20, 2007, recalls a friend of her father's cousin, Jimmy Parsons, stealing golf balls with Buffett while at Woodrow Wilson High School.

5. Hannibal was the antihero of the book and movie *The Silence of the Lambs.*

Chapter 11

1. See John F. Kennedy, *Profiles in Courage* (New York: HarperCollins, 1955) for an admiring portrait of Taft written from the perspective of the other side of the aisle.

2. From 1933, when the U.S. went off the gold standard, through 1947, the Consumer Price Index fluctuated wildly, spiking over 18%. The history of the Federal Reserve under inflationary conditions was short and provided little evidence to support an opinion either way.

3. Interview with Roberta Buffett Bialek. The others remember this story.

4. Coffee with Congress.

5. Interview with Katie Buffett. Leila apparently became obsessed with Wallis Warfield Simpson around 1936 during the abdication crisis in England.

6. Woodrow Wilson's terms ran through February and June. Because Warren had skipped half a grade, he started his sophomore year in February.

7. Cartoonist Al Capp created Li'l Abner, who inherited his strength from his mother, the domineering Mammy Yokum, whose knockout "Good night Irene" punch maintained discipline among the Yokum clan.

8. Interview with Doris Buffett.

9. Battistone recalls Howard giving them a lift at least part of the way.

10. Although most of this information is from *Strength and Health,* Elizabeth McCracken wrote "The Belle of the Barbell," a tribute to Pudgy Stockton, in the *New York Times Magazine,* December 31, 2006.

11. Pudgy was married to Les Stockton, a bodybuilder who had introduced her to weight lifting.

Chapter 12

1. *"It was never any big success at all…it did not do well. It did not do terribly either. And it didn't last very long,"* says Buffett.

2. In interviews, Roger Bell and Casper Heindel, as well as Warren Buffett, helped remember details about the farm. Buffett believes he bought this from or through his uncle John Barber, a real estate broker.

3. Interview with Casper Heindel. More than half of all Nebraska land was farmed by tenant farmers. Real property ownership with mortgages was unpopular because unstable crop prices left farmers vulnerable to foreclosure.

4. Interview with Norma Thurston-Perna.

5. In an interview, Lou Battistone observes that he noticed the "two sides" of Buffett's brain in high school—the cool mathematical businessman and the burlesque-watching one—while at the burlesque.

6. Interview with Lou Battistone.

7. Buffett told this story at Harvard Business School in 2005.

8. Carnegie was a salesman for Armour & Co., covering the Omaha territory; the compatibility of his views

with Buffett's temperament probably owes something to a shared Midwestern ethos.

9. All text, Dale Carnegie, *How to Win Friends and Influence People*. New York: Simon & Schuster, 1938. Copyright Dale Carnegie & Associates. Courtesy of Dale Carnegie & Associates.

10. Dale Carnegie quoting John Dewey.

11. The average man earned $2,473 a year in 1946, according to the U.S. Department of Commerce, Bureau of the Census, *Historical Statistics of the United States: Colonial Times to 1970, Bicentennial Edition.* Washington, D.C.: Government Printing Office, 1975, Series D-722–727, p. 164.

12. According to Lou Battistone in an interview.

13. According to a newspaper advertisement on July 24, 1931, at early Depression-era prices a dozen years earlier, quality refurbished golf balls cost three for $1.05.

14. Interview with Don Dedrick, a golf teammate from high school.

15. Interview with Lou Battistone.

16. *"We were the only guys that paid the fifty-dollar stamp tax on pinball machines,"* Warren says. *"I'm not sure we would have done it if my dad hadn't been insisting."*

17. Interview with Lou Battistone. The name "Wilson" came from Woodrow Wilson High School.

18. An essay into barbershop food concession ended quickly after the peanut dispenser, filled with five pounds of Spanish nuts, broke and got customers a handful of peanuts mixed with ground glass.

19. Dialogue and expressions used by Buffett in this story came from Lou Battistone, although the facts align with Buffett's recollection.

20. Interview with Don Dedrick.

21. In one version of this story, told by a high school friend of Buffett's who was not present, Kerlin was too smart to fall for it and never made it to the golf course. Whatever happened, Buffett's version is, not surprisingly, funnier.

Chapter 13

1. Interview with Katie Buffett.

2. While this story sounds buffed and polished over the years, the tone of it rings true. Letters from Warren at college to his father a couple of years later have the same breeziness.

3. Interview with Stu Erickson.

4. Interview with Don Dedrick.

5. Interview with Bob Dwyer.

6. According to Gray, Buffett also jokingly dreamed up an idea for a magazine called *Sex Crimes Illustrated* while they were on the train to the Havre de Grace racetrack.

7. Interview with Bill Gray, now Emeritus Professor of Atmospheric Science at Colorado State University and head of the Tropical Meteorology Project.

Chapter 14

1. The class size is approximate because Woodrow Wilson had, in effect, two classes graduating in parallel (February and June graduates); students like Warren could shift from February to the previous June by taking a few extra credits. The school described Buffett's top 50 ranking as falling in the top "one-seventh" of his class.

2. Barbara "Bobby" Weigand, who remembers only the hearse. Doris Buffett recalled the family debate about the hearse.

3. Interviews with Bob Feitler, Ann Beck MacFarlane, Waldo Beck. David Brown became brother-in-law of Waldo Beck, Ann Beck's brother.

4. Interviews with Bob Feitler, Warren Buffett. Note that, because he was using the car for commercial purposes, Buffett would probably have been able to get extra gas coupons at a time when gas was tightly rationed.

5. The term "policy" probably came from the Gaelic *pá lae sámh* (pronounced *paah lay seeh*), which means "easy payday," a nineteenth-century Irish-American gambling term.

6. The bill generated fierce anti-Taft labor reprisals in the Midwest.

7. Interview with Doris Buffett.

8. Estimate based on data supplied by Nancy R. Miller, Public Services Archivist, The University Archives and Record Center, University of Pennsylvania.

9. Jolson, a vaudeville singer, was the most popular stage entertainer of the early twentieth century. He made famous such songs as "You Made Me Love You," "Rock-a-Bye Your Baby with a Dixie Melody," "Swanee," "April Showers," "Toot, Toot, Tootsie, Goodbye," and "California, Here I Come." He performed "My Mammy" in blackface in the 1927 movie *The Jazz Singer,* the first feature film to enjoy widespread commercial success. Jolson was voted "Most Popular Male Vocalist" in a 1948 *Variety* poll on the back of a film about his life, *The Al Jolson Story,* which repopularized him to a younger generation. Performing in blackface would be considered racist today but was ubiquitous and unremarkable at the time.

10. "My Mammy," words by Sam Lewis and Joe Young; music by Walter Donaldson, copyright 1920.

11. Rich Cohen, "Pledge Allegiance." From *Killed: Great Journalism Too Hot to Print,* ed. David Wallace. New York: Nation Books, 2004.

12. Interview with Clyde Reighard.

13. Coffee with Congress.

14. Interview with Chuck Peterson.

15. Interview with Clyde Reighard.

16. Interviews with Chuck Peterson, Sharon and Gertrude Martin.

17. Interview with Anthony Vecchione, as quoted in Roger Lowenstein, *Buffett: The Making of an American Capitalist.* New York: Doubleday, 1996.

18. Peterson recalls that he stuck it out all year—or, well, almost.

19. Interview with Doris Buffett.

20. Kenesaw Mountain Landis, *Segregation in Washington: A Report, November 1948.* Chicago: National Committee on Segregation in the Nation's Capital, 1948.

21. Interview with Bob Dwyer.

22. Don Danly, as quoted in Lowenstein, *Buffett*. Danly is deceased.

23. Interview with Norma Thurston-Perna.

24. Interview with Barbara Worley Potter.

25. Interview with Clyde Reighard.

26. Beja, as quoted in Lowenstein, *Buffett.* Beja is deceased.

27. Interview with Don Sparks.

28. Shoe-shining was a big thing at Penn; a typical pledge haze was to shine the actives' shoes.

29. In an interview, Reighard recalled the outlines of the story. Buffett became a close friend of the victim Beja's roommate, Jerry Oransky (renamed Orans), who is deceased.

30. Interview with Barbara Worley Potter.

31. Interview with Ann Beck MacFarlane, who thinks the date was engineered by her parents and Leila Buffett.

32. Susan Thompson Buffett described her husband circa 1950 this way.

33. Interview with Clyde Reighard.

34. Interview with Bob Feitler.

35. Interview with Clyde Reighard.

36. Interview with Anthony Vecchione, as quoted in Lowenstein, *Buffett.*

37. Interview with Martin Wiegand.

38. "Buffett Lashes Marshall Plan," *Omaha World-Herald,* January 28, 1948. Buffett campaign literature also describes foreign aid as money down the rat hole.

39. June 5, 1948, dedication of Memorial Park.

40. Last will and testament of Frank D. Buffett, filed February 19, 1949.

41. Approved application to the county court of Douglas County, Nebraska, April 14, 1958. The bonds were allowed to mature, since the will said proceeds of any property "sold" could only be invested in U.S. bonds. Given the opportunity cost and interest rates, Howard's move was wise.

42. Leila Buffett's day books. "It's Cold—But Remember that Bitter Winter of '48–'49?" *Omaha World-Herald,* January 6, 1959.

43. *Commercial & Financial Chronicle,* May 6, 1948.

44. Interview with Doris Buffett.

45. Interview with Lou Battistone.

46. Interview with Sharon Martin.

47. Interviews with Waldo Beck and Ann Beck MacFarlane, to whom Brown repeated the story.

Chapter 15

1. They would sell 220 dozen balls for a total of $1,200.

2. Warren Buffett letter to Howard Buffett, February 16, 1950.

3. He asked Howard to advance him $1,426 that the broker required him to keep on deposit, signing off, "Yours, for lower auto profits, Warren." Warren Buffett letter to Howard Buffett, February 16, 1950.

4. Warren Buffett letter to Jerry Orans, May 1, 1950, cited in Roger Lowenstein, *Buffett: The Making of an American Capitalist.* New York: Doubleday, 1996.

5. "Bizad Students Win Scholarships," *Daily Nebraskan,* May 19, 1950.

6. Benjamin Graham, *The Intelligent Investor: A Book of Practical Counsel.* New York: Harper & Brothers, 1949.

7. Garfield A. Drew, *New Methods for Profit in the Stock Market.* Boston: The Metcalf Press, 1941.

8. Robert D. Edwards and John McGee, *Technical Analysis of Stock Market Trends.* Springfield, Mass.: Stock Trend Service, 1948.

9. Wood, as cited in Lowenstein, *Buffett.* Wood is deceased. He told Lowenstein he was not sure when this conversation took place—before Buffett was rejected by Harvard or as late as after when he had started at Columbia, but it was apparently before he met Graham himself.

10. According to Buffett, Howard Buffett was acquainted with one of the board members.

11. Columbia University in the City of New York, announcement of the Graduate School of Business for the winter and spring sessions 1950–1951, Columbia University Press.

Chapter 16

1. In his memoir, *Man of the House* (New York: Random House, 1987), the late Congressman Tip O'Neill recalled that his pastor, Monsignor Blunt, said it was a sin for Catholics to go to the Protestant-managed YMCA. O'Neill and a Jewish friend stayed at the Sloane House anyway. The regular rate in the 1930s was sixty-five cents a night, but, O'Neill said, "If you signed up for the Episcopal service, it was only thirty-five cents, with breakfast included. We were nobody's fool, so we signed up for the thirty-five-cent deal and figured to duck out after breakfast and before the service. But apparently we weren't the first to think of this brilliant plan, because they locked the doors during breakfast, which meant that we were stuck." By the 1950s, there was no longer a "pray or pay" deal at the Sloane House. "If there had been," Buffett says, "I would have experienced a revelation and embraced whatever denomination offered the greatest discount."

2. Buffett is not certain if the smoking deal applied to all three of the Buffett kids or only his sisters, but they all got the $2,000 on graduation on roughly the same terms.

3. Most of the money was invested in U.S International Securities and Parkersburg Rig & Reel, which he replaced with Tri-Continental Corporation on January 1, 1951. Howard contributed most of the money and

Warren contributed the ideas and work, or "sweat equity," to an informal partnership.

4. Benjamin Graham and David L. Dodd, *Security Analysis, Principles and Technique.* New York: McGraw-Hill, 1934.

5. Barbara Dodd Anderson letter to Warren Buffett, April 19, 1989.

6. David Dodd letter to Warren Buffett, April 2, 1986.

7. The Union Pacific Railroad in the nineteenth century was the most scandal-plagued and bankruptcy-riddled of the nation's railroads.

8. William W. Townsend, *Bond Salesmanship.* New York: Henry Holt, 1924. Buffett read this book three or four times.

9. Interview with Jack Alexander.

10. And, according to Buffett, one woman, Maggie Shanks.

11. Interview with Fred Stanback.

12. Anyone of a certain age from the Mid-Atlantic region would still recognize the slogan, "Snap back with Stanback," and "neuralgia" as an old-fashioned term for a bad headache.

13. The SEC's Regulation FD now bars selective disclosure of material nonpublic information and requires that it be disseminated simultaneously by companies to the market on a timely basis.

14. At $2,600 a year, Schloss as an investor was making less than the average secretary in 1951, who took home $3,060, according to a survey of the National Secretaries Association.

15. Interview with Fred Stanback.

16. Interview with Walter Schloss. Some material is from *The Memoirs of Walter J. Schloss*. New York: September Press, 2003.

17. Benjamin Graham, *The Memoirs of the Dean of Wall Street.* New York: McGraw-Hill, 1996.

18. Stryker & Brown was the "market maker," or principal dealer, in Marshall-Wells stock.

19. Marshall-Wells was the second Graham and Dodd stock he had bought, after Parkersburg Rig & Reel. Stanback confirms the lunch with Green, but can't recall the date.

20. Not, as has been written, from *Who's Who in America.* However, he may have learned it from reading *Moody's,* hearing it from David Dodd or Walter Schloss, or from a newspaper or magazine source.

21. Due to a legal technicality, this divestiture of GEICO stock was required in a consent order with the SEC in 1948. Graham-Newman violated Section 12(d)(2) of the Investment Company Act of 1940, although "in the bona fide, though mistaken, belief that the acquisition might lawfully be consummated." A registered investment company (Graham-Newman was "a diversified management investment company of the open-end type") cannot acquire more than 10% of the total outstanding voting stock of an insurance company if it does not already have 25% ownership.

22. GEICO oral history interview of Lorimer Davidson by Walter Smith, June 19, 1998, and also see William K. Klingaman, *GEICO, The First Forty Years.* Washington, D.C.: GEICO Corporation, 1994, for a condensed version of this story.

23. Making $100,000 in 1929 was equivalent to making $1,212,530 in 2007.

24. By 1951, GEICO was deemphasizing mailings in favor of platoons of friendly telephone operators who answered the phone at regional offices and were trained to quickly screen bad risks.

25. A type of auto insurer called "nonstandard" specializes in these customers, surcharging them, say, 80%. USAA and GEICO at the time were "ultra-preferred" companies, specializing in the best risks.

26. The main problem with tontines was that people were gambling with their life insurance policies instead of using them as protection. Originally a "survivor bet," expulsion from a tontine pool was later based on failure to pay premiums for any reason. "It is a tempting game; but how cruel!" *Papers Relating to Tontine Insurance,* The Connecticut Mutual Life Insurance Company, Hartford, Conn.: 1887.

27. Office Memorandum, Government Employees Insurance Corporation, Buffett-Falk & Co., October 9, 1951.

Chapter 17

1. Benjamin Graham, *The Memoirs of the Dean of Wall Street.* New York: McGraw-Hill, 1996. Anecdotal material from this source has been verified with Warren Buffett.

2. In 1915, members of the Grossbaum family, like many American Jews, began to anglicize their name to Graham in response to the anti-Semitism that flourished during and after World War I. Ben's family made the change in April 1917. Source: November 15, 2007, speech by Jim Grant to the Center for Jewish History on "My Hero, Benjamin Grossbaum."

3. Graham was born in 1894, the year of one of the biggest financial panics in American history, which was followed by the depression of 1896–97, the panic of 1901, the panic of 1903–04 ("Rich Man's Panic"), the panic of 1907, the war depression of 1913–14, and the postwar depression of 1920–22.

4. Benjamin Graham, *Memoirs.*

5. Ibid.

6. Ibid.

7. Traditionally, people came to Wall Street in one of two ways. Either they entered the family business by following a relative into the job, or, having no such connection, they "came up through the hawsehole," to use a nautical expression common on Wall Street at the time, starting young as a runner or board boy and working their way up, like Sidney Weinberg, Ben Graham, and Walter Schloss. Attending business school with the conscious intention of working on Wall Street was essentially unheard of until the early 1950s because most areas of finance, and especially the art of security analysis, had not developed as academic disciplines.

8. Details of Graham's early career are from Janet Lowe's *Benjamin Graham on Value Investing: Lessons from the Dean of Wall Street.* Chicago: Dearborn Financial Publishing, 1994.

9. Graham believed that one could be swayed by personality and salesmanship by going to meetings with a company's management, so this was partly a way of remaining dispassionate. But Graham was also not particularly interested in human beings.

10. Interview with Rhoda and Bernie Sarnat.

11. As cited by Lowe.

12. Benjamin Graham, *Memoirs.*

13. Ibid.

14. Interview with Jack Alexander.

15. In *Security Analysis, Principles, and Technique* (New York: McGraw-Hill, 1934), Benjamin Graham and Dodd stressed that there is no single definition of "intrinsic value," which depends on earnings, dividends, assets, capital structure, terms of the security, and "other" factors. Since estimates are always subjective, the main consideration, they wrote—always—is the margin of safety.

16. The apt analogy to Plato's cave was originally made by Patrick Byrne.

17. Often this was because the kind of undervalued stocks he liked were illiquid and could not be purchased in large positions. But Buffett felt that Graham could have followed a bolder strategy.

18. Interview with Jack Alexander.

19. Interview with Bill Ruane.

20. Interviews with Jack Alexander, Bill Ruane.

21. Schloss, in his memoir, wrote with warm affection of his wife, Louise, who "battled depression throughout her entire adult life." They remained married for fifty-three years, until she died in 2000.

22. Interview with Walter Schloss.

Chapter 18

1. Mary Monen, sister of Dan Monen, who would later become his lawyer.

2. Susie's parents were friends of Howard and Leila Buffett, but their children attended different schools, so they did not socialize.

3. Interview with Roberta Buffett Bialek. Susie was born June 15, 1932. Bertie was born November 15, 1933.

4. Earl Wilson was the saloon writer for the *New York Post*. In describing *Newsday* scribe Jimmy Breslin, *Media Life Magazine* defined a saloon writer as the purveyor of "a certain style of journalism that's peculiar to New York, and a bit peculiar in itself, where the writer journeys about the places where ordinary people can be found and writes of their visions of the human condition."

5. A well-known women-only residence still in operation today (at 419 W. 34th Street in New York City).

6. Vanita, in a Valentine letter to Warren, February 1991, poses the possibility that she "never liked cheese sandwiches and that I just ate them to please." (In this letter, as at some other times, she spells her middle name "May" instead of "Mae" as in her youth.)

7. This description came from various letters from Vanita, reminiscing about her dates with Warren—January 1, 1991, February 19, 1991, January 1, 1994, many undated; Buffett agrees.

8. Susan Thompson Buffett, as told to Warren Buffett in 2004. He does not remember this but adds that, of course, he wouldn't.

9. Buffett says that, despite her antics, he was never intimidated by Vanita. *"I wouldn't have had the guts to stick Pudgy in a wastebasket,"* he says. *"I mean, she'd have beaten the hell out of me."* For her part, Vanita later claimed to Fred Stanback that the incident never happened—although she did have some incentive to downplay the histrionic side of her personality to Fred.

10. As Charlie Munger puts it, Buffett narrowly missed a disastrous marriage when he "escaped the clutches of Vanita."

11. "A Star Is Born?" Associated Press, *Town & Country* magazine, September 24, 1977.

12. Information on William Thompson comes from a variety of sources, including interviews with Warren, Roberta, and Doris Buffett and other family members, and "Presbyterian Minister Reviews Thompson Book," *Omaha World-Herald,* January 5, 1967; "Old 'Prof' Still Feels Optimistic About Younger Generation," *Omaha World-Herald,* March 28, 1970; "W. H. Thompson, Educator, Is Dead," *Omaha World-Herald,* April 7, 1981; "O.U. Alumni Honor Dean," *Omaha World-Herald,* May 15, 1960.

13. As supervisor of the school system's IQ testing, Doc Thompson had access to and, according to Buffett, knew Warren's IQ. Indeed, the IQ test results for the three little Buffetts may have intrigued him, given their remarkably high—and remarkably similar—scores.

14. In an interview, Marge Backhus Turtscher, who attended these services, wondered what on earth motivated Thompson to make the long trip each Sunday to preach at this tiny church. Thompson also once published a book, *The Fool Has Said God Is Dead.* Boston: Christopher Publishing House, 1966.

15. Susan Thompson Buffett told this story to various family members.

16. In many patients, rheumatic fever causes mild to serious heart complications (in Howard Buffett's case, at least moderate complications), but based on her subsequent health history, Susan Thompson appears to have been among the 20–60% who escape significant carditis, or long-term damage to the heart.

17. Warren, Doris Buffett, Roberta Buffett Bialek, Susie Buffett Jr., and other Buffetts talk of this striking film.

18. Interview with Raquel "Rackie" Newman.

19. Al Pagel, "Susie Sings for More Than Her Supper," *Omaha World-Herald,* April 17, 1977.

20. Interviews with Charlene Moscrey, Sue James Stewart, Marilyn Kaplan Weisberg.

21. According to some high school classmates who asked not to be identified.

22. Interviews with Donna Miller, Inga Swenson. Swenson, who went on to become a professional actress, played Cornelia Otis Skinner opposite Thompson's Emily Kimbrough.

23. A composite taken from interviews with Inga Swenson, Donna Miller, Roberta Buffett Bialek, and John Smith, whose brother Dick Smith took Susie dancing.

24. Interviews with Sue James Stewart, Marilyn Kaplan Weisberg. Stewart, who was Sue Brownlee in high school, had access to a car and drove her best friend Susie to Council Bluffs for dates with Brown.

25. Interviews with Roberta Buffett Bialek, Warren Buffett, Doris Buffett, Marilyn Kaplan Weisberg.

26. "I don't think anything as exciting has ever happened to me," Bertie told the college newspaper. "This is what we sent her to Northwestern for?" wondered Howard.

27. The Wildcat Council acted as guides for campus visitors and leaders during New Student Week. Members joined by petitioning the council for membership (Northwestern University Student Handbook, 1950–1951).

28. Interview with Milton Brown, who says he would have depledged had the roles been reversed.

29. Interview with Sue James Stewart. Susie, a self-described "personal theist," flirted with Buddhism, a nontheistic religion, all her life and often referred to Zen or to herself as a "Zen person." It is fair to say she used the terms "Zen" and "theist" loosely.

30. Al Pagel, "Susie Sings…"

31. Interview with Roberta Buffett Bialek.

32. Interviews with Chuck Peterson, Doris Buffett.

33. Interview with Charlie Munger.

34. Interview with Milton Brown. In a minor footnote to the story, this was the only time Brown ever entered the Buffetts' house.

35. Interview with Sue James Stewart.

36. *"I can see her in those dresses now,"* Buffett says, a poignant statement from a man who does not know the color of his own bedroom walls.

37. "Debaters Win at Southwest Meet," *Gateway,* December 14, 1951.

38. "ASGD Plans Meet for New Members," *Gateway,* October 19, 1951.

39. Warren Buffett letter to Dorothy Stahl, October 6, 1951.

40. Susan Thompson Buffett, as conveyed to Warren Buffett.

41. Interview with Milton Brown.

42. The United States airlifted food and supplies into West Berlin during 1948 and 1949 during a Soviet blockade in which the Soviet Union attempted to seize the entire city, which had been partitioned after World War II.

43. Buffett recalls a literal three-hour lecture. A conversation of such length was almost certainly the result of him working himself up to ask the question while Doc Thompson carried on.

Chapter 19

1. The net gain on investments was $7,434. He also put $2,500 into the account that he'd saved from his pay working at Buffett-Falk.

2. Delving a little further into Buffett's reasoning about the valuation of an insurance business: *"The stock was trading around forty dollars and therefore the whole company was selling for about seven million. I figured the company would be worth as much as the premium volume, roughly, because they would get the investment income on 'float' that was pretty close to dollar-for-dollar, maybe with the premium income. Plus, they'd have the book value. So I figured it would always be worth at least as much as the premium. Now, all I had to do was get to a billion dollars of premium income and I was going to be a millionaire."*

3. This company later became ConAgra. Buffett-Falk had apparently managed a $100,000 preferred-stock offering for it as an investment banker—at the time not a trivial transaction.

4. Interview with Margaret Landon, the secretary at Buffett-Falk.

5. According to Walter Schloss in an interview, the Norman family, who were heirs of Julius Rosenwald of Sears, Roebuck, "received GEICO stock because they were big investors in Graham-Newman. When the

Normans wanted to put more money with Graham-Newman, they gave Ben Graham the GEICO stock he had distributed to them instead of putting cash in. Warren is out in Omaha, and he's buying GEICO. But Graham didn't know he was selling to Warren, and Warren couldn't figure out why Graham-Newman was selling it." The distribution of GEICO stock by Graham-Newman is also described in Janet Lowe's *Benjamin Graham on Value Investing: Lessons from the Dean of Wall Street.* Chicago: Dearborn Financial Publishing, 1994.

6. Interview with Bob Soener, who called him "Buffie" in those days.

7. As seen in a photograph taken in the classroom.

8. Interview with Lee Seeman.

9. People attended the class partly to get stock ideas. This was the only time he resembled Ben Graham in giving out ideas. He did so mainly because he had more ideas than money.

10. Interview with Margaret Landon. Her memory of him is in this posture, reading.

11. Office Memorandum, Cleveland Worsted Mills Company, Buffett-Falk Company, September 19, 1952.

12. Interview with Fred Stanback.

13. Buffett traded two stocks personally, Carpenter Paper and Fairmont Foods. While astute enough to set the firm up as a market maker and trade the stocks, he was immature (albeit witty) enough to refer to the CEO of Fairmont Foods, D. K. Howe, as "Don't Know Howe."

14. Bill Rosenwald later founded the United Jewish Appeal of New York.

15. Interviews with Doris Buffett, Roberta Buffett Bialek.

16. Interview with Fred Stanback.

17. Interview with Chuck Peterson.

18. Brig. Gen. Warren Wood of the 34th National Guard Division.

19. Interview with Byron Swanson.

20. Interview with Fred Stanback.

21. Susie told Sue Brownlee (Sue James Stewart) this the week after she returned from her honeymoon. Interview with Sue James Stewart.

22. Wahoo is best known as the birthplace of movie mogul Darryl F. Zanuck.

23. "Love Only Thing That Stops Guard," *Omaha World-Herald,* April 20, 1952.

24. Interview with Buffett. Also, Brian James Beerman, "Where in the Hell Is Omaha?" Americanmafia.com, March 21, 2004.

Chapter 20

1. General Douglas MacArthur made a halfhearted run for the nomination but was eclipsed by Taft. He and his former aide Eisenhower were bitter enemies.

2. Interview with Roberta Buffett Bialek.

3. David L. Dodd, Associate Dean, Columbia University, letter to Warren Buffett, May 20, 1952.

4. This was the same Robert Taft who had cosponsored the Taft-Hartley Act, much favored among businessmen but despised by broad swaths of Americans. In short, Taft represented the extreme end of the party, which made him less likely to capture moderate voters.

5. Ironically, many in this faction promoted tariffs, government farm supports, and tough labor laws desired by their small-business and farm constituents, even though this may have seemed inconsistent with their other views on government. Another famous member of this group was popular Nebraska Senator Ken Wherry, the "merry mortician," famous for malapropisms such as calling Indochina "Indigo China," addressing the chairman as "Mr. Paragraph," and offering his "unanimous opinion." *Time,* June 25, 1951. Wherry died shortly before the election.

6. The leaders of this wing of the party were Henry Cabot Lodge and Nelson Rockefeller, despised by Howard Buffett and like-minded Republicans as rich East Coast Ivy League elitists who abandoned core Republican principles to join forces with Democrats whenever it furthered their own pragmatic interests and those of "big business."

7. "Top GOP Rift Closed But Not the Democrats'," *New York Times,* September 14, 1952; Elie Abel, "Taft Rallies Aid for GOP Ticket," *New York Times,* October 5, 1952.

8. Howard Buffett wrote to former president Hoover, October 23, 1952: "I have no enthusiasm for Eisenhower, but your decision to support his election is good enough for me." He apparently changed his mind after this letter was written.

9. Interview with Roberta Buffett Bialek.

10. Interview with Katie Buffett, who recalled this conversation and found it amusing. "Warren's probably forgotten he told me that one," she said.

11. Susan Goodwillie Stedman, recalling personal interview with Susan Thompson Buffett conducted November 2001, courtesy of Susan Goodwillie Stedman and Elizabeth Wheeler.

12. Interview with Susan T. Buffett.

13. Interviews with Mary and Dick Holland, Warren Buffett.

14. Interviews with Racquel Newman, Astrid Buffett.

15. The IQ story is a family tale, but since Dr. Thompson was in charge of IQ testing for the whole school system, it has at least some credence. Within the family, Dr. Thompson often tested his daughters and grandchildren while he was creating new psychology and intelligence tests. Whatever her IQ, Dottie was considered no dummy.

16. This story is related in Leila Buffett's diary. Also, Gabe Parks, "Court Has Nomination Vote Vacancy," *Omaha World-Herald,* July 4, 1954.

17. "Buffett May Join Faculty at UNO," *Omaha World-Herald,* April 30, 1952; Buffett-Falk and Company announcement, *Omaha-World Herald,* January 9, 1953; "Talks on Government Scheduled at Midland," *Omaha World-Herald,* February 6, 1955; "Buffett Midland Lecturer in 1956," *Omaha World-Herald,* February 15, 1955.

18. Warren Buffett letter to "Pop" Howard Buffett, dated "Wednesday," presumed August 4, 1954. "Scarsdale G.I. Suicide, Army Reports the Death of Pvt. Newton Graham in France," *New York Times,* August 3, 1954. The entire text of the item read: "Frankfurt, Germany, Aug. 2 (Reuters)—Pvt. Newton Graham of Scarsdale, N.Y., committed suicide at La Rochelle, France, the United States Army announced

today." Newton—named after Sir Isaac Newton—was the second of Graham's sons to be named Isaac Newton; the first had died of meningitis at age nine. Noting Newton's increasing mental instability, which he labeled "highly neurotic, even probably schizophrenic," Graham had written letters trying to get him discharged from the army, but failed. (Benjamin Graham, *The Memoirs of the Dean of Wall Street.* New York: McGraw-Hill, 1996.)

19. Susie Buffett Jr. says she had a crib.

20. Using the term "pay" loosely, since all of the earnings are not actually paid out as a dividend. This distinction was once the subject of heavy academic debate as to the discount that should be imputed to a stock's valuation for earnings that were not paid out. The premium assigned to companies that pay dividends has waned for a number of reasons. See also the reference to "The Frozen Corporation" in Chapter 46, "Rubicon."

21. Interview with Fred Stanback.

22. His personal investment return that year was 144.8%, compared to 50.1% for the DJIA.

23. Union Underwear was the predecessor to Fruit of the Loom.

24. Buffett recalled this classic story in an interview.

25. Interview with Sue James Stewart.

26. Interview with Elizabeth Trumble.

27. Interview with Roxanne Brandt.

28. *I Love Lucy,* Season 1, Episode 6, November 11, 1951.

29. Buffett's exact quote was *"I can see her pulsing and moaning as she said, 'Tell me more…'"*

Chapter 21

1. Berkshire Hathaway chairman's letter, 1988.

2. The tax code exemption applied to LIFO inventory liquidations. For tax purposes Rockwood used LIFO accounting, which let it calculate profits using the *most recent* cocoa-bean prices, which minimized taxes. Correspondingly, cocoa beans were carried in inventory at old prices. A large taxable profit would therefore occur if it sold the inventory.

3. Pritzker created a business conglomerate through his investing activities, but is best known as founder of the Hyatt hotel chain.

4. At the onset of the exchange period, Accra cocoa beans, which made up half of Rockwood's 13-million-pound pile, were trading at $0.52 a pound. The price dropped to $0.44 per pound by the conclusion of the exchange period. The price of these beans had hit a high of $0.73 per pound in August 1954, causing candy companies to shrink the size of their 5¢ candy bars. George Auerbach, "Nickel Candy Bar Wins a Reprieve," *New York Times,* March 26, 1955; "Commodity Cash Prices," *New York Times,* October 4 and 20, 1954.

5. Letter to Stockholders of Rockwood & Co., September 28, 1954.

6. From the 1988 chairman's letter in the Berkshire annual report to shareholders, which contains a brief description of the Rockwood transaction.

7. The speculator's return on the contract also reflects his funding cost. For example, if the speculator broke even on a three-month contract—net of his fee—the contract would actually be unprofitable, considering the speculator's funding cost.

8. In the futures market, the difference between a speculator and a hedger (or "insured") is essentially whether an underlying position in the commodity exists to be hedged.

9. Interviews with Tom Knapp and Walter Schloss, as well as Buffett.

10. Warren Buffett letter to David Elliott, February 5, 1955.

11. Based on its profile in *Moody's Industrial Manual,* Rockwood traded between $14.75 and $85 in 1954 and between $76 and $105 in 1955. Buffett held on to the shares through 1956. Profit on the trade is estimated. Rockwood traded above $80 a share during early 1956, based on the Graham-Newman annual report.

12. In the letter to David Elliott noted above (February 5, 1955), Buffett explains that Rockwood is his second-largest position (after Philadelphia & Reading, which he did not disclose) and writes that Pritzker "has operated quite fast in the past. He bought the Colson Corp. a couple years ago and after selling the bicycle division to Evans Products sold the balance to F. L. Jacobs. He bought Hiller & Hart about a year ago and immediately discontinued the pork-slaughtering business and changed it into a more or less real estate company." Pritzker, he writes, "has about half the stock of Rockwood, which represents about $3 million in cocoa value. I am quite sure he is not happy about sitting with this kind of money in inventory of this type and will be looking for a merger of some sort promptly." He had studied not just the numbers but Jay Pritzker.

13. Initially he had bought the stock from Graham-Newman when he was a stockbroker, after a minor mistake on an order from them caused them to DK ("don't know," or repudiate) the order. Warren kept the stock.

14. Before 2000, investors and analysts routinely sought and received nonpublic information that would be an advantage to them in trading stocks. This gradual flow of information, which benefited some investors at the expense of others, was considered part of the efficient workings of the capital markets and a reward for diligent research. Warren Buffett and his network of investor friends profited significantly from the old state of affairs. Ben Graham was questioned extensively about this practice before Congress in 1955. He commented that "a good deal of information from day to day and month to month naturally comes to the attention of directors and officers. It is not at all feasible to publish every day a report on the progress of the company…on the other hand, as a practical matter, there is no oath of secrecy imposed upon the officers or directors so that they cannot say anything about information that may come to their attention from week to week. The basic point involved is that where there is a matter of major importance it is generally felt that prompt disclosure should be made to all the stockholders so that nobody would get a substantial advantage in knowing that. But there are all degrees of importance, and it is very difficult to determine exactly what kind of information should or must be published and what kind should just go the usual grapevine route." He added that all investors may not be aware of the grapevine, but, "I think that the average experienced person would assume that some people are bound to know more about the company [whose stock they are trading] than he would, and possibly trade on the additional knowledge." Until 2000 that was, in effect, the state of the law.

While a full discussion of insider trading is beyond the scope of this book, the theory of insider trading was promulgated with SEC Rule 10b-5 in 1942, but "so firmly entrenched was the Wall Street tradition of taking advantage of the investing public," as John Brooks puts it in *The Go-Go Years,* that the rule was not enforced until 1959, and it was not until the 1980s that anyone seriously questioned the duties of people other than insiders under insider-trading laws. Even then, the Supreme Court affirmed, in *Dirks v. SEC,* 463 U.S. 646 (1983), analysts could legitimately tell their clients this type of information, and the Supreme Court also noted in *Chiarella v. United States,* 445 U.S. 222 (1980), that "informational disparity is inevitable in the securities markets." To some extent, there was understood to be some benefit to the market of a gradual

leakage of inside information; in fact, how else was the information to get out? The practice of business public relations and conference calls had not developed.

In these 1980s cases, however, the Supreme Court defined a new "misappropriation" theory of insider trading, in which inside information that was misappropriated by a fiduciary could lead to liability if acted upon. Then, largely in response to the Bubble-era proliferation of "meeting and beating consensus" earnings and the "whisper numbers" that companies began to suggest to favored analysts that they were going to earn, in 2000, through Regulation FD (Fair Disclosure), the SEC broadened the misappropriation theory to include analysts who selectively receive and disseminate material nonpublic information from a company's management. With the advent of Reg. FD, the "grapevine" largely ended, and a new era of carefully orchestrated disclosure practices began.

15. At the end of 1956, after the dividend was paid, Warren owned 576 shares trading at $20, worth $11,520.

16. He registered the securities in his own name, rather than his brokers', so the checks came straight to his home.

17. Interviews with George Gillespie, Elizabeth Trumble, who heard this story from Madeline. Warren heard it for the first time at his fiftieth birthday party, from Gillespie. Apparently Susie had never mentioned it to him.

18. More than five decades later, Howie recalls this as his first memory. While that may seem improbable, in "Origins of Autobiographical Memory," Harley and Reese (University of Chicago, *Developmental Psychology,* Vol. 35, No. 5, 1999) study theories of how childhood memories are recalled from the earliest months of life and conclude that this phenomenon does occur. One of the explanations is parents who repeat stories to their children. A gift from Ben Graham—probably significant to Warren—might plausibly be recalled by Howie from infancy because at least one parent helped him imprint it solidly in memory by discussing it so much.

19. Interview with Bernie and Rhoda Sarnat.

20. This story also is cited in Janet Lowe's *Benjamin Graham on Value Investing: Lessons from the Dean of Wall Street.* Chicago: Dearborn Financial Publishing, 1994.

21. Interview with Walter Schloss.

22. Warren Buffett letter to the Hilton Head Group, February 3, 1976.

23. Schloss was starting the partnership with $5,000 of his own capital, a risky arrangement that left him nothing on which to live. Buffett got him help with housing from Dan Cowin. Ben Graham put in $10,000 and had some of his friends do so too; eight of Schloss's friends put in $5,000 each. Schloss charged 25% of profits, "but that's it. If the market went down, we would have to make up the loss until my partners were whole."

24. Knapp was a security analyst at Van Cleef, Jordan & Wood, an investment adviser.

25. Interview with Tom Knapp.

26. Interview with Ed Anderson.

27. Ibid.

28. Graham was born May 9, 1894. He decided to shut down Graham-Newman when he was sixty-one, but the last Graham-Newman shareholder meeting was held on August 20, 1956.

29. Jason Zweig says in a July 2003 *Money* article, "Lessons from the Greatest Investor Ever," that "From

1936 to 1956, at his Graham-Newman mutual fund, he produced an average annual gain of more than 14.7% vs. 12.2% for the overall market—one of the longest and widest margins of outperformance in Wall Street history." This record does not reflect the impressive performance of GEICO, which was distributed to the shareholders in 1948.

Chapter 22

1. At times he had said he wanted to be a millionaire by age thirty.

2. Interview with Ed Anderson.

3. *"Newman and Graham predated A. W. Jones, which everybody thinks is the first hedge fund,"* Buffett says. A.W. Jones is best known as the first promoter of the concept of hedging the risk in stocks with short sales. However, its fee structure, partnership arrangement, and flexible investing approach—that is, the classic hedge fund as the term is technically defined—were pioneered much earlier, by Graham if not others as well.

4. Interview with Chuck Peterson.

5. The first partnership agreement provided: "Each limited partner shall be paid interest at the rate of 4% per annum on the balance of his capital account as of December 31 of the immediately preceding year as shown by the Federal Income Tax Return filed by the partnership applicable to said year's business, said interest payments to be charged as expenses of the partnership business. In lieu of a separate computation of interest for the period ending December 31, 1956, each limited partner shall be paid 2% of his original capital contribution, said payments to be charged as expense of the partnership business for said period. In addition each of the limited partners shall share in the overall net profits of the partnership, that is, the net profits of the partnership from the date of its formation to any given point of time in the proportions set opposite their respective names." The total interest of the partners added up to $^{21}/42$ or 50% of the total interest in the earnings (Certificate of Limited Partnership, Buffett Associates, Ltd., May 1,1956). The agreement to share in the losses was an amendment to the partnership agreement on April 1, 1958.

6. According to Joyce Cowin, both Buffett and her own husband, Dan Cowin, who had been introduced to Buffett by Fred Kuhlken, ran money separately for Gottschaldt and Elberfeld.

7. Interview with Chuck Peterson.

8. Some of these remarks were made at the 2003 speech to Georgia Tech students, the rest in interviews with the author.

9. Hartman L. Butler Jr., "An Hour with Mr. Graham," March 6, 1976, interview included in Irving Kahn and Robert Milne, *Benjamin Graham: The Father of Financial Analysis.* Occasional Paper No. 5, The Financial Analysts Research Foundation, 1977.

10. Interview with Tom Knapp.

11. "Tourist Killed Abroad, Portugal-Spain Highway Crash Fatal to Long Island Man," *New York Times,* June 23, 1956. Kuhlken had been on a yearlong trip. The other passenger, Paul Kelting, was listed in critical condition.

12. Sloan Wilson, *The Man in the Gray Flannel Suit.* New York: Simon & Schuster, 1955.

13. Interview with Susie Buffett Jr.

14. From *Headliners & Legends,* MSNBC, February 10, 2001.

15. Interview with Charlie Munger.

16. Or thereabouts.

17. Interview with Ed Anderson.

18. According to Tom Knapp, one thing Dodge and Buffett had in common was their tightfistedness. Even when he later became one of Buffett's richest partners, Homer Dodge would angle for a free canoe from a canoe maker. He knew every route into New York City from both La Guardia and JFK airports, and took convoluted trips by bus and subway and on foot rather than hire a cab.

19. The Dodges chose a slightly different deal. Buffett's share of the profits would be only 25%, but the amount he could lose was limited to his capital, initially only $100. Certificate of Limited Partnership, Buffett Fund, Ltd., September 1, 1956.

20. Cleary split profits over 4%, while Buffett was exposed to the extent of any arrears. Certificate of Limited Partnership, B-C Ltd., October 1, 1956. In 1961, B-C Ltd. was folded into Underwood Partnership, Ltd.

21. Buffett Partnership files, "Miscellaneous Expense" and "Postage and Insurance Expense," 1956 and 1957.

22. Warren Buffett's first letter to partners, December 27, 1956.

23. During the war, people bought Liberty Bonds, which paid low interest rates, as a patriotic duty. When rates subsequently rose, the bonds traded "below par"—face value. Stock promoters offered shares to Liberty Bond owners in exchange for the par value of the bonds. Thus bondholders thought they were getting $100 worth of stock for a bond selling in the market for, say, $85, when in fact the stock was worth little if anything. Salesmen also promised some buyers board seats, according to Hayden Ahmanson, who told Buffett this.

24. From 1928 to 1954, the manual was published in five volumes annually as *Moody's Manual of Investments,* one volume each for government securities; banks, insurance companies, investment trusts, real estate, finance and credit companies; industrial securities; railroad securities; and public-utility securities. In 1955, Moody's began publishing *Moody's Bank and Finance Manual* separately.

25. Buffett says Hayden Ahmanson gave him this version of events.

26. Buffett: *"He was my partner in National American insurance. Dan didn't have a lot of money, so he was using his money that he had originally planned to put in the partnership, and borrowed some money too."*

27. Under the Williams Act, passed in 1968, you could not do this today, nor could Howard Ahmanson buy back the stock piecemeal. The act requires buyers to make a "tender offer" that puts all sellers on a level playing field under the same price and terms.

28. According to Fred Stanback, when Buffett had "bought all he could pay for," he also let Stanback start buying.

29. A year later, Buffett sold the National American stock for around $125 (to the best of his memory) to J. M. Kaplan, a New York businessman who had reorganized and headed Welch's Grape Juice in the 1940s and '50s and was later known for his philanthropy. Kaplan eventually sold the stock back to Howard Ahmanson.

30. See, for example, Bill Brown, "The Collecting Mania," *University of Chicago Magazine,* Vol. 94, No. 1., October 2001.

31. Interview with Chuck Peterson. This was insurance proceeds from her husband's estate. By then, Buffett had decided to offer his partners several choices of risk versus reward. Mrs. Peterson chose a fee structure

that shifted more of both to Warren. He had to beat the market by 6%, not 4%, before earning anything. But he got one third of everything he made above that. Under this structure, only Warren's capital was at risk for the 25% payback-of-losses provision. Certificate of Limited Partnership, Underwood Partnership, Ltd., June 12, 1957.

32. Arthur Wiesenberger, *Investment Companies.* New York: Arthur W. Wiesenberger & Co., released annually from 1941.

33. United States & International Securities Corp. was formed amid much fanfare in October 1928 by Dillon, Read & Co. and promptly sank into ignominy, becoming a cigar butt by 1950. Clarence Dillon, the founder of Dillon, Read, was called before the Pecora hearings in 1933 to explain how Dillon, Read obtained control of US&IS and US&FS, which were capitalized at $90 million, for $5 million.

34. Quote is from Lee Seeman. Buffett confirms the substance of the statement. The intriguing question is who or what prompted Wiesenberger to make the phone call.

35. Lee Seeman's recollection in an interview is that Dorothy Davis made the comparison.

36. Buffett, recalling a conversation with Eddie Davis.

37. Dacee resembled the Buffett Fund. Buffett was credited 25% of any profits over a 4% hurdle rate. Certificate of Limited Partnership, Dacee Ltd., August 9, 1957.

38. Congressional records note a Washington, D.C., furniture store was giving away shares of uranium stock with any purchase for a Washington's Birthday sale. (Stock Market Study, Hearings before the Committee on Banking and Currency of the United States Senate, March 1955.)

39. Monen had also invested in a small real estate partnership with Warren and Chuck Peterson. The money from this, a profit from National American, and likely some personal savings had, in short order, made him one of Buffett's largest partners.

40. Above a 4% to 6% "bogey." He benchmarked himself against the rate of long-term government bonds, telling his partners that if he could not do better than that, he should not get paid. The wide range of profit-sharing reflected the varying level of risk Warren was taking. In the partnerships that paid him the most, he also had unlimited liability to pay back losses.

41. Buffett was charging 25% of the partnership's appreciation in excess of 6%.

42. Meg Mueller, in an interview, recalls its size relative to other houses on the street at the time.

43. Reynolds was a city councilman. "Sam Reynolds Home Sold to Warren Buffett," *Omaha World-Herald,* February 9, 1958. "Buffett's Folly" was referred to in a letter to Jerry Orans, March 12, 1958, cited in Roger Lowenstein, *Buffett: The Making of an American Capitalist.* New York: Doubleday, 1996.

44. Interview with Susie Buffett Jr.

45. Interview with Howie Buffett.

46. Pyelonephritis, sometimes associated with pregnancy.

47. As quoted in Lowenstein, *Buffett*. Billig is now deceased.

48. Interview with Charlie Munger.

49. In interviews, Dr. Marcia Angle recalls the TV being acquired in the late 1950s and how much it impressed her father. Kelsey Flower and Meg Mueller recall its impact on the neighborhood.

50. Interviews with Howie Buffett, Peter Buffett, Susie Buffett Jr.

51. Interview with Thama Friedman. Laurette Eves was the third partner.

52. Interview with Howie Buffett.

53. Kuhlken had introduced Cowin to Buffett in 1951 on one of Buffett's trips back to New York after his graduation from Columbia.

54. From Buffett's eulogy for Cowin.

55. From Joyce Cowin's eulogy for Cowin.

56. Marshall Weinberg, Tom Knapp, Ed Anderson, Sandy Gottesman, Buffett, and others contributed to this portrait of Cowin.

57. *"He lent me unsecured. A dollar of short-term loss offset two dollars of long-term gain for tax purposes, and you could buy a mutual fund that was going to pay a long-term capital-gains dividend and redeem it immediately thereafter to offset a long-term gain going into the end of the year. I bought a combination of long-term gain and short-term loss, which, though equal in amount, had different effects on your tax return. It was all legit then; you can't do it anymore. It probably saved me a thousand dollars. Boy, it was huge,"* says Buffett.

58. Interview with Joyce Cowin.

59. This was an experimental town built to house 1,800 families in low-cost units. Numerous government properties were auctioned off after World War II. "House Passes Bill to Speed Greenbelt Sale," *Washington Post,* April 14, 1949; "U.S. Sells Ohio Town It Built in Depression," *New York Times,* December 7, 1949; "Greenbelt, Md., Sale Extended for 30 Days," *Washington Post,* May 31, 1952.

60. Chuck Peterson paraphrased this quote from the version of the story he heard. It is probably correct in substance, but, as with all quotes recalled from memory, the exact wording is in doubt.

Chapter 23

1. "A. C. Munger, Lawyer, Dies," *Omaha World-Herald,* July 1, 1959.

2. The obituary of Henry A. Homan, son of George W. Homan, in the *Omaha World-Herald,* March 22, 1907, mentions that Homan, who was twelve years older than Judge Munger, was a close friend of the judge. The Homan and Buffett sides of the families, however, were not close.

3. "33 Years a Federal Judge," *Omaha World-Herald,* March 12, 1939.

4. Charles Munger letter to Katharine Graham, November 13, 1974. When Judge Munger died, this same aunt Ufie (Ruth) reportedly made the bizarre claim that he must have been taken by God's grace because of a mistake he'd made recently in arithmetic. She said she knew "he couldn't stay on after that."

5. Lowe, *Damn Right!: Behind the Scenes with Berkshire Hathaway Billionaire Charlie Munger.* New York: John Wiley & Sons, 2000. Lowe's biography, which is based on extensive family interviews, was the author's principal source for the Munger family history.

6. Said approvingly in Lowe, *Damn Right!*

7. Interview with Lee Seeman.

8. Interview with Mary McArthur Holland.

9. Interview with Howard Jessen, a friend of the Buffetts'.

10. His grandfather, a prominent Omaha lawyer, was a friend of Dean Roscoe Pound, the dean of Harvard Law School.

11. Munger made no effort to burnish a résumé by, for example, joining the *Law Review.* In an interview, he described himself as relatively aloof.

12. His father also gave him this advice.

13. Lowe, *Damn Right!*

14. As quoted in Lowe, *Damn Right!*

15. Munger, as told to Janet Lowe in *Damn Right!*

16. In *Damn Right!,* Munger compared getting married to investing. Nancy said he was "uptight" about showing emotions. His son Charles Jr. said, "There are some things my dad could deal with better if he faced them more" but "he just walks away."

17. Munger, as quoted in Lowe, *Damn Right!*

18. Ibid.

19. In *Damn Right!,* Nancy says that Charlie "was not much of a helpmate around the house." For her seventieth birthday, Buffett says he went to a pawn shop and got her a Purple Heart.

20. Roger Lowenstein, *Buffett: The Making of an American Capitalist.* New York: Doubleday, 1996.

21. Lowe, *Damn Right!*

22. Interview with Charlie Munger.

23. Interview with Lee Seeman.

24. In a year when the Dow was up 38.5%, Warren had managed to beat it, taking minimal risk.

25. In addition to his $100 stake in Buffett Associates, Buffett had later put $100 into each of his other partnerships: Buffett Fund, B-C, Underwood, Dacee, Mo-Buff, and Glenoff.

26. Interview with Lee Seeman.

27. This version differs from some others that have been published. For example, Susie Buffett has said that she was present. Several writers have set the meeting at a dinner at Johnny's Café. Roger Lowenstein, however, also set the meeting at the Omaha Club. Most likely, other versions are conflations of later events. To the author, Seeman's version is the most detailed yet has the least embellished air.

28. Interview with Charlie Munger. The dinner is reconstructed from interviews with Buffett and Munger, whose memories are hazy. Nancy Munger doesn't remember. The wives were introduced soon after the first meeting, and Johnny's is the most likely location. Buffett recalls Munger's self-intoxication clearly.

Chapter 24

1. Estimated. Buffett was managing $878,211 at the end of 1958 in six partnerships. The $50,000 Glenoff

Partnership was formed in February 1959. By the end of 1959, the partnerships' market value had grown to $1,311,884. His personal funds and Buffett & Buffett increased this total.

2. Sanborn sent its customers paste-over revisions each year showing new construction, changed occupancy, new fire-protection facilities, and changed structural materials. A new map was published every few decades. Buffett took note of the company, as far as he recalls, when a large block of stock came up for sale. The widow of the deceased president was reportedly selling 15,000 shares because her son was leaving the company. Phil Carret owned 12,000 shares.

3. Five or ten shares apiece, forty-six shares in total.

4. Buffett had become friendly with the company's CEO, Parker Herbell, whom he said the rest of the board treated as an "errand boy." Herbell supported the plan to separate the investments from the map business, and had facilitated some of its underpinnings, such as this study.

5. "It does not make sense to have management, consultants, and major stockholders in complete agreement regarding a course of action but unable to proceed because of directors owning an insignificant amount of stock." Warren Buffett letter to C. P. Herbell, September 25, 1959.

6. In those days, appreciated shares could be exchanged for a company's own shares. So a company could get rid of the capital-gains tax that was inherent in an operation if it just sold stock from time to time.

7. As part of the deal, the Buffett partnerships agreed to tender their stock.

8. Interview with Doris Buffett.

9. Interview with Kelsey Flower, a childhood friend of Susie Jr.'s.

10. Interview with Dick and Mary Holland.

11. Interview with Peter Buffett.

12. Interview with Howie Buffett.

13. Ibid.

14. *Gateway,* May 26, 1961.

15. "Paul Revere's Ride," Henry Wadsworth Longfellow. Listen my children, and you shall hear of the multitudes rescued by Susan Buffett.

16. From remarks made by Eisenberg at Susie's funeral.

17. According to his autobiography, *Stranger to the Game* (written with Lonnie Wheeler, New York: Penguin, 1994), Bob Gibson lived in Omaha in the off season. He talks about playing basketball in Omaha with a white team in 1964, traveling to Iowa for games, and hanging out at a bar on North 30th Street. The bartender wouldn't serve him.

18. Howard Buffett quoted in Paul Williams, "Buffett Tells Why He Joined Birch Society," *Benson Sun,* April 6, 1961.

19. The Christian Anti-Communist Crusade was founded in 1953 by "a crisp, energetic, self-confident Austrian," Fred Schwarz, who was a physician, psychiatrist, and lay preacher. It used media to spread its anti-Communist philosophy. Cabell Phillips, "Physician Leads Anti-Red Drive with 'Poor Man's Birch Society,'" *New York Times,* April 30, 1961. See the CACC website, http://www.schwarzreport.org/.

20. Leila Buffett letter to Dr. Hills, December 10, 1958.

21. Leila Buffett to Mrs. Kray, May 23, 1960.

22. Interview with Susie Buffett Jr. and Howie Buffett. They recall their father's behavior during this period as routine and, with hindsight, as a form of denial.

23. Interview with Howie Buffett.

24. Interview with Chuck Peterson.

25. According to Chuck Peterson, Carol Angle "did not hear well." This is a example of Buffett's raconteuring. She says she had progressive hearing loss.

26. Interview with Lee Seeman.

27. Interview with Dick Holland.

28. Interviews with Frank Matthews Jr. and Walter Schloss, who agree that Schloss introduced them on the street corner.

29. This is how hedge funds are commonly managed to stay within the legal investor limit today.

30. George Payne was also a founding member of this partnership. By then, B-C had been folded into Underwood. Along with the ten partnerships, Warren and his father were still operating Buffett & Buffett.

31. The Dow's results include dividends received. Note that this was the performance for the partnership before Warren's fees.

32. Interview with Chuck Peterson.

33. Interviews with Kelsey Flower, Meg Mueller.

34. Interview with Stan Lipsey.

35. Buffett was 31 on January 1, 1962, but his personal investments and gains in the partnership had taken him past the million-dollar mark months earlier, when he was still 30.

36. Interview with Bill Scott.

37. Buffett waived his fee for Scott, one of the two most lucrative arrangements he ever made with an employee. (See Henry Brandt in "Haystacks of Gold" and "Folly" for the other.)

38. He put in everything except his investment in Data Documents, a personal investment in a private company.

39. Letter to partners, July 6, 1962. In the second quarter of 1962, the Dow fell from 723.5 to 561.3, or 23%. In the first half of that year, the partnership saw a loss before payments to partners of 7.5%, compared with a loss of 21.7% including dividends for the Dow—the partners had a14.2% outperformance.

40. Buffett's phrase is a clever reworking of Graham's original. In *The Intelligent Investor*: "The sovereign virtue of all formula plans lies in the compulsion they bring upon the investor to sell when the crowd is buying and to buy when the crowd lacks confidence" (*Intelligent Investor,* Part I: General Approaches to Investment VI: Portfolio Policy for the Enterprising Investor: The Positive Side, 1949 edition). And in *Security Analysis*: "It would require bond investors to act with especial caution when things are booming and with greater confidence when times are hard" (*Security Analysis,* Part II: Fixed-Value Investments, XI:

Specific Standards for Bond Investment, 1940 edition).

Chapter 25

1. Warren Buffett typewritten file memo, undated.

2. Warren Buffett letter to Bob Dunn, June 27, 1958.

3. Note from Jack Thomsen to Warren Buffett, March 8, 1958: "I think we have to be realistic and reorganize on a basis that has a reasonable chance of working…the only thing that Clyde is concerned about is prestige…. Hale received a letter from Clyde yesterday to notify him that he was being removed as trustee of his estate. I am certain the same rancor is and will be held for all of us who have dared to oppose him…. I do feel sorry for him in his present predicament but I do not think we can correct our problems with sympathy."

4. Interview with Verne McKenzie, who says Buffett explained this to him when he hired him. Without a public exit strategy, this is one of only two ways to realize the value of the assets. Buffett had not yet figured out the other one, as the reader will see.

5. Interview with Walter Schloss.

6. Warren Buffett letter to Clyde Dempster, April 11, 1960.

7. Warren Buffett note to Bob Dunn, June 27, 1958: "…has become increasingly less active in the business and it appeared the company was just drifting with him not interested and no one else having the authority to do anything…. We finally got the job accomplished by letting Clyde stay as president." He gave Jack Thomsen, executive vice president, temporary operating authority.

8. Interview with Walter Schloss.

9. At $30.25 per share. Warren Buffett letter to Dempster shareholders, September 7, 1961.

10. Warren Buffett letter to partners, July 22, 1961.

11. "Dempster had earned good money in the past, but was currently only breaking even. "We continued to buy the stock in small quantities for five years. During most of this period I was a director and was becoming consistently less impressed with the earnings prospects under existing management. However, I also became more familiar with the assets and operations and my evaluation of the quantitative factors remained very favorable," thus leading him to continue buying stock. Letter to partners, January 24, 1962.

12. And water-system parts—as the demand for windmills was waning.

13. "We had parts for windmills and certain farm equipment," says Scott, "where we had a lock on the business and by repricing it could stop losing money down there. And we were successful to some degree."

14. January 18, 1963.

15. Interview with Bill Scott.

16. "Still a Chance City Can Keep Dempster," *Beatrice Daily Sun,* September 1, 1963; "Drive to Keep Dempster Rolls," *Omaha World-Herald,* September 30, 1963.

17. As Buffett's successor, Dempster's chairman W. B. McCarthy, put it, "We understand, as I am sure you do, that a number of the people in Beatrice do not recognize the fine, necessary job that you and Harry accomplished with Dempster." W. B. McCarthy letter to Warren Buffett, November 19, 1963.

18. Of the $2.8 million total financing, $1.75 million went to pay the sellers and the remainder to expand the operation. "Launch 11th Hour Effort to Keep Dempster Plant Here," *Beatrice Daily Sun,* August 29, 1963.

19. "Beatrice Raises $500,000," *Lincoln Evening Journal,* September 3, 1963; "Fire Sirens Hail Victory, Beatrice Gets Funds to Keep Dempster," *Omaha World-Herald,* September 4, 1963; "Contracts for Dempster Sale Get Signatures," *Beatrice Daily Sun,* September 12, 1963.

20. The partnership made $2.3 million, almost three times its investment. Buffett changed the name of the holding company to First Beatrice Corp. and moved its headquarters to Kiewit Plaza.

Chapter 26

1. The speakers appeared as individuals who happened to belong to different groups rather than "representatives" of their races and faiths. All went well, except once, says Doris Buffett, when a Protestant panelist started telling the Catholic and the Jew that they were going to hell.

2. The black workers were squeezed out of jobs as Omaha's packinghouse industry shrank. Marginalized into a ghetto north of downtown called the Near North Side, they lived in dilapidated, aging tenements for which unscrupulous landlords charged high rents. In 1957, the Omaha Plan, a communitywide study, proposed redevelopment of the Near North Side, but bond issues were defeated. A budding civil-rights movement led by college students at Creighton University, the Urban League, and other civic groups had worked to improve black employment and end segregation of teachers in the public schools since 1959.

3. Interview with Susie Buffett Jr., who wondered what good the police whistle was going to do.

4. Interview with Peter Buffett.

5. Interview with Doris Buffett. Viktor E. Frankl, *Man's Search for Meaning.* Boston: Beacon Press, 1962.

6. Interview with Sue James Stewart.

7. Alton Eltiste, "Miss Khafagy Gives Views on Homeland," *Gateway,* October 5, 1962.

8. This image of the crossing guard may surprise modern readers, but in the United States until the latter part of the twentieth century, children were traditionally given significant freedom and responsibility.

9. Interview with Howie Buffett.

10. Howie and Susie Jr. describe themselves and their relationship this way in interviews.

11. This composite picture of the Buffett household is based on interviews with Susie Buffett Jr., Howie Buffett, and Peter Buffett.

12. Interview with Meg Mueller. "My mom has commented on that several times over the years," she says.

13. Interview with Bill Ruane.

14. Interview with Dick Espenshade. One of the founding lawyers, Jamie Wood, joined from another firm.

15. Interview with Ed Anderson.

16. The example has been simplified for ease of understanding the concept of leverage. Obviously the exact return on capital depends on how long it took to make the profit, and on the funding rate.

17. Interview with Rick Guerin in Janet Lowe, *Damn Right!: Behind the Scenes with Berkshire Hathaway Billionaire Charlie Munger.* New York: John Wiley & Sons, 2000.

18. This description is from Ed Anderson.

19. Interview with Ed Anderson.

20. Interview with Charlie Munger. Guerin's seamstress mother died when he was a teenager.

21. Interviews with Rick Guerin, Ed Anderson.

22. Janet Lowe, *Damn Right!*

23. Interview with Ed Anderson. Guerin doesn't remember this specific incident but says it sounds likely.

24. Anderson takes the blame for being too obtuse to read Munger's mind, rather than blaming Munger for not explaining things to him.

25. Interview with Ed Anderson.

26. Along with Munger, Ed Anderson recalls this extraordinary trade. Munger says the story is true in substance. Buffett also recalled the reasoning.

27. Interview with Ed Anderson, who suggested the word "pretender" because, as he put it, "Charlie would never feel like he was an 'apprentice.'"

28. Ira Marshall relates Munger's confusion with names in *Damn Right!*

29. Interview with Ed Anderson. This term was commonly used among Buffett's friends. He referred to "coattail riding" in his partnership letter of January 18, 1963.

30. Buffett also recalls Munger hyperventilating at his own jokes.

31. Charles T. Munger letter to Katharine Graham, December 9, 1974.

32. Ibid.

33. In 1953, Buffett sold copies of this report for $5.

34. Buffett had also let Brandt in on one lucrative private investment, the Mid-Continental Tab Card Company. While Buffett gave up his override on Brandt's money, the deal was a win/win.

35. "There's got to be a warehouse full of these somewhere," said Bill Ruane in an interview, but the author never saw it.

36. Bill Ruane introduced Buffett to Fisher's ideas. Philip A. Fisher, *Common Stocks and Uncommon Profits.* New York, Evanston, and London: Harper & Row, 1958. ("Scuttlebutt" is a nautical term for a barrel with a hole in it used to hold the sailors' drinking water.)

37. The market for soybean oil was not large, a key element in the scheme. It would be impossible for a single individual to amass enough capital to corner the market for, say, oil or treasury bills.

38. Most accounts published about the scandal incorrectly refer to oil floating on top of water in the tanks.

39. Mark I. Weinstein, "Don't Leave Home Without It: Limited Liability and American Express," Working paper, American Law & Economics Association Annual Meetings, Paper 17, *Berkeley Electronic Press,* 2005, p. 14–15, is the source that American Express was certifying more warehouse receipts than the Department of Agriculture said existed in salad oil.

40. Haupt was a securities dealer who traded both stocks and commodities and was a member of the NYSE; thus, he was required to meet the exchange's net capital rules (which state that capital must be $^1/20$ of its total liabilities). SEC Rule 15c3-1 regulates broker-dealer net capital. Under the Aggregate Indebtedness Standard, 2% of net capital is required today, compared to 5% in the 1960s. The New York Stock Exchange paid $10 million to cover its customers' losses. H. J. Maidenberg, "Lost Soybean Oil Puzzles Wall St.," *Wall Street Journal,* November 20, 1963.

41. Equivalent to 2.9% of its value.

42. The Stock Exchange had closed mid-session on August 4, 1933, due to a tear-gas prank. Some consider the Kennedy assassination closing to be the first "real" closing of the market.

43. John M. Lee, "Financial and Commodities Markets Shaken; Federal Reserve Acts to Avert Panic," *New York Times,* November 23, 1963.

44. H. J. Maidenberg, "Big Board Ends Ban on Williston, Walston and Merrill Lynch Are Instrumental in the Broker's Reinstatement, Haupt Remains Shut, Effect of Move Is Swept Aside by Assassination of President Kennedy," November 24, 1963. The soybean-oil drama, including the American Express role, peaked during a period of about a week following the assassination.

45. American Express at the time was the only major U.S. public company to be capitalized as a joint stock company rather than a limited liability corporation. This meant its shareholders could be assessed for deficiencies in capital. *"So every trust department in the United States panicked,"* recalls Buffett. *"I remember the Continental Bank held over 5 percent of the company, and all of a sudden not only do they see that the trust accounts were going to have stock worth zero, but they could get assessed. The stock just poured out, of course, and the market got slightly inefficient for a short period of time."*

46. The Travelers Cheque was American Express's main product. The company introduced the card defensively when banks developed credit cards as a countermeasure to the Travelers Cheque.

47. Warren Buffett letter to Howard L. Clark, American Express Company, June 16, 1964. Brandt sent Buffett a foot-high stack of material, according to Jim Robinson, former CEO of American Express, who saw it. "I remember seeing Henry's stuff on American Express, just reams of it," said Bill Ruane in an interview.

48. At the end of it all, De Angelis pleaded guilty to four federal counts of fraud and conspiracy, and was sentenced to ten years in prison. "The Man Who Fooled Everybody," *Time,* June 4, 1965.

49. Howard Buffett, August 6, 1953, last will and testament.

50. Interviews with Patricia Dunn, Susie Buffett Jr., Warren Buffett.

51. In *Grand Old Party* (New York: Random House, 2003), Lewis L. Gould describes the way being a Republican became identified with racism in the minds of many people who changed parties during the civil-rights era.

52. Buffett cannot recall whether he initially registered as an independent or a Democrat. His preference would have been to register as an independent, but that would have precluded him from voting in primaries. Either immediately or within a few years, he did register as a Democrat.

53. Interview with Susie Buffett Jr.

54. Susan Goodwillie Stedman, recalling personal interview with Susan T. Buffett conducted November 2001, courtesy of Susan Goodwillie Stedman and Elizabeth Wheeler.

55. Dan Monen as quoted in Roger Lowenstein, *Buffett: The Making of an American Capitalist.* New York:

Doubleday, 1996. Monen is now deceased.

56. Warren's inability to deal with Howard's death is the incident most widely cited by family members as indicative of his inner state during this period.

Chapter 27

1. Warren Buffett letter to Howard L. Clark, American Express Company, June 16, 1964.

2. L. J. Davis, "Buffett Takes Stock," *New York Times,* April 1, 1990.

3. *"I'm not a hundred percent sure of that. I've been told that by other people, so it's hard to remember. But I'm pretty sure it was Howard Clark."*

4. In July 1964, Buffett's letter to partners said, "…our General category now includes three companies where B.P.L. is the largest single stockholder." Readers could infer from this a fairly concentrated portfolio.

5. Letter from Warren Buffett to partners, November 1, 1965.

6. Letter from Warren Buffett to partners, October 9, 1967.

7. Letter from Warren Buffett to partners, January 20, 1966.

8. The author studied Buffett's written work and interview material in reaching this conclusion. Charlie Munger, on the other hand, often uses the terms "dishonor" and "disgrace" (referring to others and not himself).

9. Interview with John Harding.

10. In 1962, according to an interview with Joyce Cowin.

11. Per capita. According to Everett Allen in *Children of the Light: The Rise and Fall of New Bedford Whaling and the Death of the Arctic Fleet* (Boston: Little, Brown, 1983), yearly income from whaling amounted to $12 million by 1854, making New Bedford probably the richest city per capita in the world before the Civil War.

12. More than thirty ships were lost in the disaster of 1871, most from New Bedford. The devastating cost of 1871 in financial and human terms laid waste to the industry. Whalers began building metal boats that could break through the ice in a futile quest to save what remained of the whaling industry.

13. Baleen is the "teeth" through which whales sieve plankton. The use of spring steel also reduced baleen demand.

14. Horatio Hathaway, *A New Bedford Merchant*. Boston: D. B. Updike, the Merrymount Press, 1930.

15. Partnership agreement, Hathaway Manufacturing Company, 1888. Among the other partners was William W. Crapo, a longtime New Bedford associate of Hetty Green's, who also invested $25,000. The total initial capital was $400,000.

16. With a fortune estimated at $100 million.

17. Eric Rauchway, *Murdering McKinley: The Making of Theodore Roosevelt's America.* New York: Hill and Wang, 2003.

18. The North was no workers' paradise, but in the South there were virtually no laws against child labor, excessive work hours, or unsafe work conditions. The mills owned the workers' houses and the stores where

they shopped, controlled their water supply, owned their churches, and effectively controlled the state governments and the courts. Machine-gun-bearing state militia prevented strikes. The workers were more like sharecroppers. Nearly ten thousand Northern workers had lost their jobs when the textile industry marched southward to the Carolinas in search of cheaper labor when air-conditioned plants were constructed after World War II.

19. Seabury Stanton, *Berkshire Hathaway Inc., A Saga of Courage*. New York: Newcomen Society of North America, 1962. Stanton made this address to the Newcomen Society in Boston on November 29, 1961.

20. Ibid.

21. In *A Saga of Courage,* Seabury says he conceived of the Stantons as forming part of an "unbroken thread of ownership" that stretched back to Oliver Chace, who had founded New England's textile industry and created Berkshire Fine Spinning's oldest predecessor company in 1806. Chace was a former apprentice of Samuel Slater, who first brought Sir Richard Arkwright's innovative spinning-frame technology to the United States at the end of the eighteenth century.

22. Hathaway Manufacturing Corporation Open House tour brochure, September 1953. Courtesy of Mary Stanton Plowden-Wardlaw.

23. If the goal had been to save jobs, the money to modernize need not have been spent. Roger Lowenstein, in *Buffett: The Making of an American Capitalist* (New York: Doubleday, 1996), quotes Ken Chace (now deceased) as saying that Seabury hadn't the slightest idea of return on investment.

24. Stanton (now deceased) is stated as having these opinions in "Berkshire Hathaway's Brave New World," by Jerome Campbell, *Modern Textiles,* December 1957.

25. Berkshire Hathaway 1994 chairman's letter.

26. Interviews with David S. Gottesman, Marshall Weinberg.

27. Letter to Warren Buffett on May 4, 1990, from James M. Clark Jr. at Tweedy, Browne Co., noting that "Howard Browne gave various accounts code initials."

28. Interview with Ed Anderson.

29. Interviews with Chris Browne, Ed Anderson.

30. According to Ed Anderson, this is how Buffett traded. The author is well acquainted with Buffetting in other contexts.

31. The commission sounds tiny, but at ten cents a share, Buffett later said, it was by far the highest commission he ever paid on a stock.

32. Interviews with Mary Stanton Plowden-Wardlaw, Verne McKenzie.

33. He also felt that Seabury's strategy of trying to bypass the New York "converters"—who turned the company's "gray goods" into finished dyed goods and sold them to customers—was a serious misjudgment.

34. "If you're in a business that can't take a long strike, you're basically playing a game of chicken with your labor unions because they're going to lose their jobs, too, if you close down…. And there's a lot of game theory involved. To some extent, the weaker you are, the better your bargaining position is—because if you're extremely weak, even a very short strike will put you out of business; and the people on the other side of the negotiating table understand that. On the other hand, if you have a fair amount of strength, they can push you harder. But it is no fun being in a business where you can't take a strike." Berkshire Hathaway's Warren Buffett and Charlie Munger, "The Incentives in Hedge Funds Are Awesome, But Don't Expect the

Returns to Be Too Swift," *Outstanding Investor Digest,* Vol. XVI, No. 4 & 5, Year End 2001 Edition.

35. Several of the Grahamites swear they saw the room. Buffett swears this story is not true. A former Plaza Hotel employee confirms that the seventeenth floor did have a few exceptionally small rooms, with bad views, and that it was possible to haggle the room prices down, especially later in the evening.

36. Interview with Ken Chace Jr.

37. According to Roger Lowenstein's *Buffett,* Ken Chace was the source. Warren does not recall any of the details, including talking to Jack Stanton, but he says Ken Chace's account is most likely correct.

38. Mary Stanton Plowden-Wardlaw, letter to Warren Buffett, June 3, 1991. Stanley Rubin set it up.

39. Interview with Mary Stanton Plowden-Wardlaw.

40. The detailed version of this story was related in Roger Lowenstein's *Buffett,* with Ken Chace as the source. Buffett recalls sitting on a bench near the Plaza with Chace, eating ice cream.

41. "The Junior League is an organization of women committed to promoting voluntarism, developing the potential of women and improving the community through the effective action and leadership of trained volunteers. Its purpose is exclusively educational and charitable," according to its mission statement. (The author is a member.)

42. He replaced the elderly Abram Berkowitz, who worked for the company's law firm, Ropes & Gray, and had cooperatively decided to step down.

43. Stanton said he "hastened [his] retirement due to a disagreement with regard to policy with certain outside interests which have purchased sufficient stock to control the company." "Seabury Stanton Resigns at Berkshire," *New Bedford Standard-Times,* May 10, 1965.

44. Berkshire Hathaway Board of Directors' minutes, May 10, 1965.

45. "Buffett Means Business," *Daily News Record,* May 20, 1965.

46. Adapted in part from the documentary *Vintage Buffett: Warren Buffett Shares His Wealth* (June 2004) and in part from interviews.

Chapter 28

1. Interview with Doris Buffett.

2. Ibid.

3. November 10, 1965.

4. *Report of the National Advisory Commission on Civil Disorders.* New York: Bantam Books, 1968.

5. "Riot Duty Troops Gather in Omaha," *New York Times,* July 5, 1966. The governor said the problem was unemployment, which ran triple that of whites. 30% of blacks were unemployed in Omaha.

6. Bertrand Russell, *Has Man a Future?* New York: Simon & Schuster, 1962. This powerful, absolutist book argued that unless something "radical" happened, mankind was eventually doomed by weapons of mass destruction, and predicted the development of mass chemical and biological weapons in the not-distant future.

7. The 1955 Russell-Einstein Manifesto. Russell was president of the Campaign for Nuclear Disarmament in

1958, and was cofounder with Einstein of the Pugwash Conference, a group of scientists concerned about nuclear proliferation.

8. Interview with Dick Holland.

9. Buffett and his chief administrative officer John Harding chose a set of representative large-cap stocks, in effect creating a market index. Buffett did not want to execute the trade through a brokerage firm because the broker kept the proceeds from the sale and paid no interest to him. Harding contacted university endowment funds. Buffett went personally to Chicago to get shares. The idea of lending directly to a short-seller was so novel at the time that most universities passed. However, Harding was able to borrow about $4.6 million of stock.

10. Buffett put $500,000 into treasury bills in the first quarter of 1966.

11. Interview with Susie Buffett Jr., Meg Mueller, Mayrean McDonough.

12. Interview with Kelsey Flower.

13. Interview with Susie Buffett Jr.

14. Interview with Marshall Weinberg.

Chapter 29

1. "The Raggedy Man," by James Whitcomb Riley, a children's poem about a handyman.

2. Interview with Chuck Peterson.

3. Buffett tells the story, which Charlie Heider recalls and found unforgettable. Parsow doesn't recall it.

4. Both Byer-Rolnick and Oxxford were acquired by Koret in 1967.

5. Interview with Sol Parsow.

6. Gottesman worked for Corvine and Company, which, he says, was going out of business. He founded his own firm, First Manhattan Co., in 1964.

7. Interview with Sandy Gottesman.

8. "That's not negotiating," claims Munger. "It's just using pithy examples to steer people to what they should be doing. Sure, it's persuasion, but it's legitimate persuasion."

9. The Kohns were planning to sell for a quarter less than the tangible net assets of the business. Gottesman had done a private placement of debentures for Hochschild-Kohn with Equitable Life that year and was familiar with its financial statements. His mother-in-law, her brother Martin Kohn, and another sister were equal stockholders who owned a class of preferred stock in the company. The preferred stock was in arrears, not having paid a dividend in some time. In effect, therefore, they could have controlled the business. They had not exercised this privilege, however. The common stock was owned largely by their relative Louis Kohn, from another branch of the family and second in command after Martin Kohn.

10. DRC Offering documents for 8% debentures, December 18, 1967.

11. He gave them the money anyway, partnered with National City to provide $9 million in short-term financing for the deal. Diversified Retailing Company, Inc., Prospectus, December 18, 1967. According to Gottesman and *Moody's Bank & Finance Manual,* Martin Kohn was on the board of Maryland National Bank.

12. Charles T. Munger testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HQ-784. Thursday, March 20, 1975, page 187.

13. Buffett mentioned the problem to the partners in his mid-1966 letter but stressed the more important question of buying a *company* rather than a *stock.* Another factor was the banks, which had also started issuing credit cards, cutting further into Hochschild-Kohn's edge.

14. Interview with Charlie Munger. The company was purchased in April 1967.

15. Diversified Retailing Company, Inc., Prospectus, December 18, 1967.

16. Buffett says Rosner told him he got Aye Simon's consent to sell the business by saying something along the following lines: "And to hell with you. If you're going to second-guess it, you come down and run the store." The relationship was irretrievably broken.

Chapter 30

1. Including Buffett's stock in Data Documents, a separate investment, the Buffetts' net worth was somewhere between $9.5 and $10 million.

2. Buffett's description, in Patricia E. Bauer's "The Convictions of a Long-Distance Investor," *Channels,* November 1986, was, "One time we had a dog on the roof, and my son called to him and he jumped. It was so awful—the dog that loves you so much that he jumps off the roof…"—leaving the reader to wonder how the dog got on the roof.

3. Interview with Hallie Smith.

4. "Haight-Ashbury: The Birth of Hip," CBC Television, March 24, 1968.

5. In 1967, over 2.5 billion shares traded, topping the previous 1966 record by one third. Thomas Mullaney, "Week in Finance: Washington Bullish," *New York Times,* December 31, 1967.

6. But insurers looked undervalued and he thought they would get taken over. He bought Home Insurance and Employers Group Associates.

7. Sun Valley Conference, 2001.

8. At high rates of return, and paying no tax. If a shareholder had taken $0.06 a share—after paying a tax on the $0.10 dividend—and put it in the market earning 5% on average, he would have about $0.42. If Buffett had kept that $0.10, and compounded it at the 21% he earned over the past forty years, a shareholder, who would have been slightly diluted over the years, would be $135 richer. Looking at it on a larger scale, the tiny dividend "cost" Berkshire shareholders over $200 million as of 2007.

9. Interview with Verne McKenzie.

10. Letter to partners, July 12, 1967.

11. Interview with Verne McKenzie.

12. "Requiem for an Industry: Industry Comes Full Circle," *Providence Sunday Journal,* March 3, 1968.

13. Letter to partners, January 25, 1967.

14. By September 30, 1967, the partnership had $14.2 million in treasuries and short-term debt out of a total $83.7 million invested.

15. Alice was a friend of Ringwalt's; the family believed she may have once had some sort of "understanding" that might have led to marriage until Ernest put a stop to it. Ringwalt had a reputation as a ladies' man, but Alice also kept house for her father, and *"no one was good enough for her,"* Buffett says.

16. Interview with Bill Scott.

17. Interview with Charlie Heider.

18. Robert Dorr, "'Unusual Risk' Ringwalt Specialty," *Omaha World-Herald,* March 12, 1967, and Ringwalt's *Tales of National Indemnity and Its Founder* (Omaha: National Indemnity Co., 1990) recount stories of lion tamers, circus performers, and hole-in-one contests. Buffett heard of the burlesque stars from Ringwalt.

19. Berkshire paid Heider a $140,000 fee for the transaction.

20. Interview with Bill Scott.

21. With the company closely held, it took only a week to round up the necessary 80% shareholder approvals.

22. In his book, Ringwalt says he was only driving around looking for a metered place on the street because he refused to pay a parking garage.

23. This was a reason why National Indemnity would not need reinsurance, or protection from other insurers, which was both expensive and would make it a dependent.

24. Ringwalt also was included in the shareholder register of Diversified Retailing in 1976 (he actually sold 3,032 shares back to the company in its tender offer).

Chapter 31

1. As quoted in an interview with Jose Yglesias as Dr. King prepared for the Poor People's Campaign. Jose Yglesias, "Dr. King's March on Washington, Part II," *New York Times,* March 31, 1968.

2. Wead, who declined to be interviewed, was the director of Wesley House, a community improvement organization of the Methodist Church.

3. Interview with Racquel Newman and her son, Tom Newman. A number of other people recalled Susie and Rackie's activities.

4. Interview with Chuck Peterson.

5. Buffett had met Rosenfield through a connection to Hochschild-Kohn.

6. Grinnell's founder, Congregational minister Josiah Grinnell, pastor of the First Congregational church in Washington, D.C., bolted from its doors in 1852 when his Southern congregation took exception to his abolitionist views. It was Grinnell who sought advice from the famous *New York Herald* editor Horace Greeley and who heard the words that every schoolchild in America would subsequently learn without knowing their source: "Go West, young man, go West!" The phrase was originally written by John Soule in the *Terre Haute Express* in 1851.

7. Interview with Waldo "Wally" Walker, Dean of Administration at the time.

8. The luckless George Champion, chairman of the board of Chase Manhattan Bank, followed King on the program, speaking on "Our Obsolete Welfare State."

9. This common paraphrase of Lowell was more eloquent than Lowell's actual words: "Though her portion be the scaffold, And upon the throne be wrong." James Russell Lowell (1819–1891), "The Present Crisis," 1844.

10. Interview with Hallie Smith.

11. From King's 1963 speech at Western Michigan University. King may have said something like this at the October 1967 Grinnell Convocation, but no transcript exists.

12. King first said this in Cleveland in 1963 and used variations of it in most major speeches thereafter. He called the idea that you can't legislate morality a "half-truth." "It may be true that the law cannot make a man love me," he said, "but it can keep him from lynching me, and I think that is pretty important."

13. Despite flirting briefly with the magic 1,000, it had ended down more than 15%.

14. Letter to partners, January 25, 1967.

15. Letter to partners, January 24, 1968.

16. Galbraith in an interview by Israel Shenker, "Galbraith: '29 Repeats Itself Today," published in the *New York Times* on May 3, 1970. "The explosion in the mutual funds is the counterpart of the old investment trusts. The public has shown extraordinary willingness to believe there are financial geniuses in the hundreds. Financial genius is a rising stock market. Financial chicanery is a falling stock market." Galbraith reiterates this in "The Commitment to Innocent Fraud," *Challenge,* Sept.–Oct. 1999: "In the world of finance, genius is a rising market."

17. Grinnell forgave Noyce after intervention from his physics professor Grant Gale and, according to Buffett, from Rosenfield.

18. Wallace sought signatures in order to be placed on the Nebraska ballot as a candidate for the American Party.

19. Wallace hired an ex-Klansman as a speechwriter and made a number of inflammatory statements at different times, such as "I reject President Kennedy's statement [that] the people of Birmingham have inflicted abuses on the Negroes…the President wants us to surrender this state to Martin Luther King and his group of Communists." Yet his famous stand, blocking the University of Alabama's Foster Auditorium to prevent the enrollment of two black students until forced by federal marshals and the National Guard to step aside, was a compromise apparently engineered with the White House to appease white supremacists and avoid violence while allowing the blacks to enroll. Wallace later apologized to the black community for his role.

20. Associated Press, "Disorder, Shooting Trail Wallace Visit," *Hartford Courant,* March 6, 1968; Homer Bigart, "Omaha Negro Leader Asks U.S. Inquiry," *New York Times,* March 7, 1968.

21. "Race Violence Flares in Omaha After Negro Teen-Ager Is Slain," *New York Times,* March 6, 1968; Bigart, "Omaha Negro Leader Asks U.S. Inquiry."

22. Associated Press, "Disorder, Shooting Trail Wallace Visit."

23. UPI, "1 Wounded, 16 Held in Omaha Strike," July 8, 1968.

24. He recovered after a lengthy hospital stay. Part of this account is from *The Gate City: A History of Omaha* (Lincoln: The University of Nebraska Press, 1997).

25. In a December 1981 *Playboy* interview, Henry Fonda, an Omaha native, recounts witnessing the same

event: “It was an experience I will never forget…. My dad’s office looked down on the courthouse square and we went up and watched from the window…. It was so horrifying. When it was all over, we went home. My dad never talked about it, never lectured. He just knew the impression it would have on me.”

26. April 4, 1968.

27. Interview with Racquel Newman.

28. The club was renamed Ironwood in 1999.

29. By coincidence, at the time, Chuck Peterson had also been put up for the Highland. Peterson was eating there a lot with fellow flying enthusiast Bob Levine and thought he ought to join instead of freeloading.

30. Stan Lipsey, another friend of Buffett’s, weighed in on behalf of Chuck Peterson. “I got so high-profile because of that,” says Lipsey, “that they made me serve on the board next year. No good deed goes unpunished. A golf buddy named Buck Friedman was the chairman. He was very serious, and I’d be trying to crack them up. He didn’t like that I’d call him Buckets.”

Chapter 32

1. Warren Buffett letter to Ben Graham, January 16, 1968.

2. Ibid.

3. Armon Flenn, “Run for Your Money,” *New York Times,* June 3, 1968; “Mutual Interest,” *Time,* January 19, 1968; Robert D. Hershey Jr., “Mutual Funds Reaching Further for Investment,” *New York Times,* September 29, 1968.

4. In 1929, only about 3% of the population owned stock. In 1968, about 12.5% of the population owned stock or equity mutual funds.

5. Letter to partners, July 11, 1968.

6. The SEC prepared a study stating that the new system, NASDAQ, was “on the horizon” in 1963. NASDAQ went live on February 8, 1971, and traded as much volume as the American Stock Exchange in its first year. Eric J. Weiner, *What Goes Up: The Uncensored History of Modern Wall Street,* New York: Little, Brown, 2005.

7. Warren Buffett letter to the Graham Group, January 16, 1968.

8. Warren Buffett letter to the Graham Group, September 21, 1971.

9. DRC earnings were down overall $400,000, or 17%, in 1968. Associated Cotton Shops earned about 20% on the money employed in the business—an outstanding performance in any year but especially in difficult 1968.

10. Letter to partners, January 24, 1968.

11. Buffett lost money in stocks at times and was quick to cut his losses. The margin of safety didn’t prevent losses but shifted the odds away from large losses.

12. The Youth International Party (Yippees), a prankster group of anarchist activists, nominated Pigasus the Pig as their party candidate. Leader Jerry Rubin said, “Why vote for half-pigs like Nixon, Wallace, and Humphrey, when you can have the whole hog?” at a speech to the University of British Columbia Faculty Club (October 24, 1968).

13. Interview with Verne McKenzie, who says that Chace was upset but did not show it. He did what he had to do.

14. The impact of credit cards and a radical change in consumer thinking about consumption is hard to overstate. Savings and layaway—once commonplace in purchasing even items such as clothing—were replaced by debt. Although economists debate measures of household wealth over time, the result has been a world of renters who tithe to financial institutions. The "earthquake risk" is a catastrophic mass deleveraging. (See 2008 credit crisis.)

15. Retailers paid, on average, 2¢ for every dollar of sales for the stamps they gave out and tacked this onto the price of their goods.

16. They priced Blue Chip cheaper, at 1.5¢.

17. Blue Chip had 71% of the trading-stamp business in California at the time. "Safe on Its Own Turf," *Forbes,* July 15, 1968.

18. Sperry & Hutchinson sued Blue Chip when the Alpha Beta and Arden-Mayfair food chains dropped S&H stamps in favor of Blue Chip stamps. Blue Chip paid $6 million to settle this case.

19. Each "package," priced at $101, consisted of $100 face amount of 6.5% ten-year debt plus three shares of $0.333 par common stock. A total of 621,600 Blue Chip shares were included in the offering. Nine retailers who were big Blue Chip customers split another 45%, which went into trusts for ten years. The remaining 10% went to company management (as reported in the *Wall Street Journal,* September 23, 1968).

20. A couple of gas-station chains were still suing, as were a group of small trading-stamp companies in Northern California. Blue Chip Stamps annual report to shareholders, 1969.

21. One of the Graham Group members recalls this.

22. Letter to partners, January 24, 1968.

23. Leslie Berlin, *The Man Behind the Microchip.* New York: Oxford University Press, 2005.

24. Buffett shorted 10,000 shares of Control Data in the third quarter of 1965 in the low $30s—at this point he had over $7 million of his portfolio in shorts. He eventually bought some Control Data for the partnership in 1968, as a "workout," meaning an arbitrage.

25. Interview with Katie Buffett, who said Fred wanted to put in $300 and she "snitched a little" to add another hundred. She thought she would have been better off putting more money in the partnership.

26. In the form of a convertible debenture.

27. Leslie Berlin, *The Man Behind the Microchip.*

28. Buffett told his partners about the "particularly outstanding performances" of Associated Cotton Shops and National Indemnity Company. But the controlled companies had only a "decent" performance overall; Berkshire and Hochschild-Kohn were dragging down the results.

Chapter 33

1. A former Kelly girl temporary office worker, Kaiser came to work in January 1967 and stayed until her retirement in 1993.

2. Interview with Donna Walters. Buffett shared Walters with Sol Parsow, the men's haberdasher in the building's lobby.

3. Blue Chip stamps were the closest equivalent.

4. Beginning with "Love Only Thing That Stops Guard," *Omaha World-Herald,* April 20, 1952, continuing to a cute feature picture of Susie and the kids packing a picnic Thermos, and a story about him buying Sam Reynolds's house.

5. Loomis's recollections are from her memoir in *Fortune,* "My 51 Years (and Counting) at *Fortune,*" *Fortune,* September 19, 2005.

6. Loomis wrote an admiring profile of hedge-fund manager A. W. Jones, "The Jones Nobody Keeps Up With," *Fortune,* April 1966, around the time or shortly before she met Buffett. In this article she mentions Buffett in passing. She did not begin to profile him in her writing until "Hard Times Come to the Hedge Funds," *Fortune,* January 1970.

7. Buffett says that he never actually overslept his paper route. This seems to be his version of the common "test-anxiety dream."

8. Interview with Geoffrey Cowan.

9. Interview with Tom Murphy.

10. Warren Buffett letter to Jay Rockefeller, October 3, 1969. Buffett added, *"It tends to be a very poor business unless you have a life-size fold-out of a girl in the middle. I have frequently told my partners that I would rather lose money logically than make money for the wrong reasons. Hopefully, I will come up with some similar aphorism to rationalize this deal."*

11. Buffett put in $32,000 to start.

12. Interview with Charles Peters, with additional condensed comments adapted from Peters's memoir, *Tilting at Windmills.* New York: Addison-Wesley, 1988.

13. Buffett put in another $50,000.

14. After being told that he couldn't donate his investment in the *Washington Monthly* to charity, "I finally let them give the stock to one of the people who worked there, just to get rid of it," says Stanback. "It was worthless."

15. Letter to partners, May 29, 1969.

16. Ibid.

17. Ibid.

18. The Buffetts hired teachers as babysitters, but Howie co-opted the teachers' husbands into becoming his confederates, doubling the degree of lawlessness.

19. Al Pagel, "Susie Sings for More Than Her Supper," *Omaha World-Herald,* April 17, 1977.

20. Interview with Milton Brown.

21. Berkshire Hathaway annual meeting, 2004.

22. Letter to partners, October 9, 1969.

23. John Brooks, *The Go-Go Years.* New York: Ballantine Books, 1973.

24. The stock had "split" so that each share became five, then promptly rose to $25 per share.

25. Blue Chip had called a shareholders' meeting to vote on a secondary offering in which shareholders could offer blocks of existing stock to the public.

26. Interview with Wyndham Robertson, who says she could barely understand the code when she first joined the Graham Group two years later in Carmel.

27. Letter to Graham Group, September 21, 1971.

28. Interviews with Marshall Weinberg, Tom Knapp, Fred Stanback, Ruth Scott.

29. Interview with Ed Anderson.

30. Letter from Warren Buffett to Graham Group, September 21, 1971.

31. Interview with Fred Stanback.

32. Interview with Sandy Gottesman, who notes that they basically broke even on the deal; he says that a bit of mythology has arisen around the Hochschild-Kohn deal. "It goes down in history as an enormous mistake," he says. "And I don't think it was as big a mistake as represented…it's grown way out of proportion."

33. Supermarkets General bought Hochschild-Kohn in 1969 for $5.05 million cash plus $6.54 million in non-interest-bearing notes with a present value of about $6 million. Effectively, DRC received about $11 million.

34. From the 1969 Diversified Retailing annual report. But if Buffett had been hit by the proverbial bus, under the terms of the debenture, the obligation for mandatory redemption would have ceased. So he was taking the element of random chance out of it.

35. Wilder was not the only doubter. *"Danny [Cowin] thought I was crazy to do it,"* says Buffett.

36. Cited in the 1989 letter to shareholders.

37. "How Omaha Beats Wall Street," *Forbes,* November 1, 1969.

38. The article stated that Buffett had lived in the house since his marriage in 1952, an error later repeated by other writers. The Farnam house was far from the "starter home" that is implied. Articles often refer to the house as "modest" or some similar term and rarely mention its extensive remodeling. Buffett bought the house in 1958.

39. Evelyn Simpson, "Looking Back: Swivel Neck Needed for Focus Change Today," *Omaha World-Herald,* October 5, 1969.

Chapter 34

1. Carol Loomis, "Hard Times Come to the Hedge Funds," *Fortune,* January 1970, the first of a series of Loomis articles that showcase Buffett's opinions.

2. Book value. Tangible book value was $43. Warren Buffett letter to partners, October 9, 1969.

3. Ibid.

4. The more inquisitive partners may have discovered that Berkshire Hathaway owned *Sun* Newspapers by

reading its 1968 annual report.

5. Letter to partners, October 9, 1969. Buffett explained that he expected stocks to yield about $6^1/2\%$ after tax for the next ten years, roughly the same as a "purely passive investment in tax-free bonds." Even the best managers, he said, were unlikely to do better than $9^1/2\%$ after tax. Compare this to the 17% return he had projected to partners in the early years of the partnership and the 30% average he had actually achieved.

6. Letter to partners, December 5, 1969.

7. According to Buffett, a couple of them never were able to find anyone they trusted to manage their money, and one ended up working as a fortune-teller in San Diego.

8. Letter to partners, December 26, 1969.

9. This statement is intriguing since Buffett had just named Dow Jones as the stock he would like to own on a desert island. However, the *Sun* was not a good investment.

10. Emphasis added by author. By then, a small cult of Buffett-stalkers monitored his holdings, and curiosity about Buffett's intentions was rife among many partners. The importance of a clear statement of his intentions—after more than a decade of obsessive secrecy—should have been unmistakable (at least with hindsight).

11. Buffett indulged in a bit of score-settling with the underwriters in his letter to partners of December 26, 1969, saying that the deal was pitched "with a heavy weight" placed on a comparison to Sperry & Hutchinson, the nearest competitor, but shortly "before the stock was to be offered, with the Dow Jones Industrials much lower but S&H virtually unchanged, they indicated a price far below their former range." (Blue Chip at the time had declined significantly.) "We reluctantly agreed and felt we had a deal but, on the next business day, they stated that our agreed price was not feasible."

12. It was a little unclear what the filling stations' actual beef was. They had given out Blue Chip stamps and made money doing it. If there were five stamp companies in California, they might have given out stamps that cost more, and it isn't clear that they would have made more money—they might have made less.

13. This takes into account the approximately 90,000 shares of Blue Chip Stamps that were still tied up in BPL because of the delay in the sale.

14. DRC's 1971 annual report discloses $841,042 of notes issued "in exchange for common stock of an affiliated company" due on varying dates, or within twelve months of the death of Warren E. Buffett. DRC continued to issue these notes until 1978, for a total of $1.527 million. During the first year the notes were also payable at the payee's demand. Apparently the notes were reissued with this term eliminated in 1972 (according to the 1972 DRC financial statements).

15. 1970 Annual Statement for Reinsurance Corporation of Nebraska, Berkshire Hathaway, Diversified, and Blue Chip, Forms 10-K and annual reports to shareholders.

16. Interview with Verne McKenzie.

17. Interview with Rhoda and Bernie Sarnat.

18. Interview with Charlie Munger.

19. Through chunks of stock large enough to almost certainly block an unfriendly takeover.

20. Blue Chip sales peaked in 1970 at $132 million.

21. A&P's discounting program, Where Economy Originates, prompted other supermarket chains to adopt

discounting in 1972. "The Green Stamp Sings the Blues," *Forbes,* September 1, 1973.

22. From the files of Berkshire Hathaway.

23. Interview with Bill Ramsey. The sale occurred because Laurence A. See, son of Mary See and a founder of the firm, had died, and Charles See, his brother and executor of his estate, mentioned to an attorney acquaintance while on vacation in Hawaii that he might want to sell. The attorney told Bob Flaherty, who worked for Scudder, Stevens, and Clark, and Flaherty talked to Ramsey, who was also a client of the firm.

24. From Margaret Moos Pick, *See's Famous Old Time Candies, A Sweet Story.* San Francisco: Chronicle Books, 2005.

25. Interview with Ed Anderson.

26. Buffett and Munger paid 11.4x trailing twelve months earnings for See's (i.e., a price equal to over eleven years' worth of the company's earnings—at the past twelve months' earnings rate). This was a remarkably high price/earnings ratio for Buffett, who rarely paid more than ten times earnings. Paying more than book value was also unprecedented. Susie told at least one friend that he "bought it for her," because of her chocolate obsession, which sounds like something he might have said as an endearment.

27. Since 1960.

28. Letter from John W. Watling to Harry W. Moore, December 3, 1971. Buffett was particularly involved in tax aspects of the deal. He wrote a detailed memorandum outlining a proposed structure for the company's trademarks in order to obtain a tax basis equal to the effective purchase price without incurring the tax costs that a sale would entail under tax law at the time, such as depreciation recapture and investment tax-credit recapture. Price Waterhouse, the accountants for See's, apparently were pleased that Buffett had done their job and wrote a memo concurring with his proposal and explaining how it would be executed (letter from Price Waterhouse & Co. to William F. Ramsey, January 18, 1972).

29. This account is an amalgamation of interviews with Munger and remarks at the Berkshire Hathaway 2003 annual meeting. Warren Buffett and Charlie Munger, "What Makes the Investment Game Great Is You Don't Have to Be Right on *Everything,*" *Outstanding Investor Digest,* Vol. XVIII, Nos. 3 and 4, Year End 2003 Edition.

30. Interviews with Ed Anderson and Chris Browne. Buffett's reasoning in situations like this and Berkshire was that he needed the stock to get control. However, his allies could have kept their stock and voted with him. Indeed, in his younger days when he had less capital, Buffett had arranged such voting blocks.

31. Warren Buffett letter to Chuck Huggins, December 28, 1971.

32. During the early 1970s, the price of sugar increased sixfold. Although most news stories focused on the price of meat, sugar and cocoa were the commodities that experienced the most wrenching price increases.

33. At the time a cult product that people carried home on airplanes after encounters on vacation in Colorado.

34. Narrative is based on correspondence among Warren Buffett, Stanley Krum, and Chuck Huggins, 1972. In a letter dated later in 1972, Buffett the teetotaler also says, "Maybe grapes from one little eighty-acre vineyard in France are really the best in the whole world, but I have always had a suspicion that about 99% of it is in the telling and about 1% is in the drinking."

35. This is the lament of a number of the managers.

36. Warren Buffett letter to Chuck Huggins, September 25, 1972.

37. Interviews with Tom Newman, Raquel Newman.

38. Buffett also would have gone on the board of his favorite company, GEICO, had the SEC not concluded that it would be a conflict because Berkshire Hathaway already owned an insurance company, National Indemnity.

39. Interview with Peter Buffett.

40. Each of the advisory-board members invested about $7,000. Control of the bank was retained within the African-American community. Some blacks did not want white investors. *"They just thought we were trying to put something over on them, I guess,"* Buffett says.

41. Interview with John Harding.

42. Interview with Larry Myers. According to Myers, Buffett continued this level of involvement for seventeen years. An advisory board is different from a regular board position and normally requires less time commitment.

43. Roger Lowenstein, *Buffett: The Making of an American Capitalist.* New York: Doubleday, 1996.

44. Interview with Hallie Smith.

45. Interview with Rhoda and Bernie Sarnat. Buffett recalls the story as well.

46. At an anniversary party for the Thompsons a few weeks earlier, the Buffetts' cook served what came to be known throughout Omaha as the "poisoned chicken." Except for a rabbi and his wife, who ate tuna, everyone present came down with salmonella. By then, Buffett was so well-known that the episode made the *Omaha World-Herald.* Interview with Rabbi Meyer Kripke.

47. Interview with Ron Parks.

48. As Buffett tells this story he lost the game, but according to Roxanne and Jon Brandt, he was determined not to lose to a six-year-old—and won.

49. According to a friend, Susie began to verbalize this attitude around the late 1960s. She later said these words, as quoted, to Charlie Rose in an interview.

50. Interview with Milton Brown. Several sources confirm that Susie was frequently in contact with Brown during this period.

51. Interviews with Racquel Newman, Tom Newman.

52. His mortgage was $109,000 in 1973.

Chapter 35

1. "Warming Up for the Big Time: Can John Tunney Make It as a Heavyweight?" Charles T. Powers, *West* magazine *(Los Angeles Times),* December 12, 1971.

2. A letter from Senator Ed Muskie to Buffett, September 23, 1971, said that Muskie was "especially intrigued by this concept," which Hughes and Rosenfield had passed along to him. Later, the same notion, with the more memorable and attention-grabbing name "misery index," played a role in President Jimmy Carter's failure to win a second term.

3. James Doyle, "A Secret Meeting: Hughes Rejects Presidential Bid," *Washington Evening Star,* July 15, 1971.

4. John H. Averill, "Hughes Drops Out as Democratic Contender," *Los Angeles Times,* July 16, 1971.

5. Without naming the interviewer, this incident is cited by James Risser in "'Personal' Religion of Senator Hughes," *Des Moines Sunday Register,* July 11, 1971. Hughes appeared on *Meet the Press* on April 4, 1971.

6. James Risser and George Anthan, "'Personal' Religion of Senator Hughes." Hughes said he "believes in the ability of certain people to foretell the future."

7. The way Hughes told this story (with Dick Schneider) in his autobiography, *The Man from Ida Grove* (Lincoln, Va.: Chosen Books, 1979), differed slightly from the press account. Hughes freely discusses his reputation as a "mystic" and mentions Rosenfield's backing. He does not mention Buffett but recalls the meeting as taking place in a California motel room instead of Washington, as reported. On the plane on the way home, he saw "a vision of a red button" that would launch "an awesome nuclear attack" and says he realized that, as President, he could not press the button. After asking God's guidance, he decided not to run for President.

8. John H. Averill, "Hughes Drops Out as Democratic Contender." Most likely, the media would have unearthed the story at some point anyway, and Hughes was saved from greater embarrassment later. Hughes's advisers subsequently denied in the *Los Angeles Times* that disclosing his beliefs in spiritualism and his communication with his dead brother through a medium had influenced his decision not to run.

9. Interview with Tom Murphy.

10. This version of the story is an amalgamation of Murphy's and Buffett's versions. The stories are identical except for trivial differences in their recollection of the dialogue.

11. The announcement of the sale of the *Fort Worth Star-Telegram* and the area's AM and FM radio stations to Cap Cities for $80 million was on January 6, 1973. However, the closing of the deal was delayed until November 1974.

12. *"I should have done it,"* Buffett says. *"That was really dumb. We would have made a lot of money with that."*

13. According to Boys Town (now renamed Girls and Boys Town), the home opened on December 12, 1917, with about six boys and grew to twenty-five within three weeks. The approximate date and number ("between twenty and thirty") are cited in *Omaha's Own Magazine and Trade Review,* December 1928.

14. Howard Buffett "helped us greatly in securing our own post office for which we were deeply grateful, because he came to us to assist us when we were badly in need of a friend." Patrick J. Norton letter to Warren Buffett, April 24, 1972. The post office was established in 1934 and the village became incorporated in 1936, according to the *Irish Independent,* August 25, 1971. The post office was a key element in the charm of Boys Town's fund-raising appeals.

15. The average contribution at the time of the *Sun*'s story was $1.62. Transcript, Mick Rood interview with Msgr. Nicholas Wegner.

16. Ibid. Robert Dorr, "Hard-Core Delinquent Rarity at Boys Town," *Omaha World-Herald,* April 16, 1972.

17. Paul Williams, *Investigative Reporting and Editing,* Englewood Cliffs, N.J.: Prentice-Hall, 1978. Williams was the editor during the Boys Town investigation.

18. Michael Casey, new director of special projects brought in after the *Sun* story, described the atmosphere as a "minimum-security prison," based on his experience working in prisons and mental hospitals, in "Midlands News" of the *Omaha World-Herald,* March 10, 1974. According to Casey's account, he was forced to resign from Boys Town six months later and stated that reforms were window dressing. Father

Hupp says Casey left because his job was done—but Casey was an outspoken ex-convict, which may have made him "too hot."

19. Paul N. Williams, "Boys Town, An Exposé Without Bad Guys," *Columbia Journalism Review,* January/February 1975.

20. The *Sun* had a "four-way" staff that reported stories that would appear in seven editions of the paper. These were the reporters working on the Boys Town story.

21. According to Paul Williams, in *Investigative Reporting and Editing,* Boys Town got school-aid funds and state welfare and gasoline tax funds. While these were "relatively small change" in the context of the overall budget, about $200,000 a year, the discrepancy was real and pointed to other possible problems.

22. Transcript, Mick Rood interview with Msgr. Nicholas Wegner. Wegner speaks of "this gal down there in the Lincoln welfare department [who] tried to make a big thing, a big blow out of this…" which, he thought, was personal rather than institutional. Nevertheless, he implied that Boys Town might move out of state if the regulators pestered it too much because "our bylaws say WE'RE NOT OBLIGED TO STAY HERE."

23. Paul Williams, *Investigative Reporting and Editing.*

24. Interview with Mick Rood. According to several sources, the "Deep Throat" of Boys Town, a role that required courage in insular Omaha, was Dr. Claude Organ.

25. Jeannie Lipsey Rosenblum described his appearance at that time in an interview.

26. As a religiously affiliated organization, Boys Town was entitled to an exemption for the first two years and could have filed with the archdiocese of Omaha. But it had filed separately anyway.

27. According to Paul Williams, the footwork in Philadelphia was done by Melinda Upp, a Washington reporter whom he previously had tried to hire. Finally, the call came: Are you sure you want this? she asked. The IRS charged a dollar a page and it was 94 pages long. The answer was, Hell, yes.

28. Interview with Randy Brown.

29. In his follow-up columns in the *Sun*.

30. The $25 million is combined fund-raising and investment income.

31. Interviews with Mick Rood, Warren Buffett.

32. The *Sun* published on Thursdays and worked around its own production schedule while trying to cut off the opportunity for a preemptive response through the *Omaha World-Herald.*

33. Paul Williams, *Investigative Reporting and Editing,* and Craig Tomkinson, "The Weekly Editor: Boys Town Finances Revealed," *Editor & Publisher,* April 15, 1972.

34. Transcript, Mick Rood interview with Msgr. Nicholas Wegner.

35. The reporters interviewed thirteen of the seventeen board members. Two were too old or ill to be interviewed.

36. Monsignor Schmitt, speaking at a press conference on May 22, 1972. Press conference transcript.

37. Interview with Randy Brown.

38. Paul N. Williams, "Boys Town, An Exposé Without Bad Guys."

39. Michael D. LaMontia, director of the State Department of Public Institutions, which oversaw Boys Town, called the *Sun*'s criticisms those of a "vocal minority" that should be ignored in a letter to Wegner, May 25, 1972. The *Sun,* he said, speaks "from a very low profile and is really not heard by many people. The person being attacked can let it die a natural death…." He referred to the reporters as "scavengers" and "professional losers." Possibly Mr. LaMontia was merely being empathetic, but his tone seemed a little more charged-up than that.

40. Paul N. Williams, "Boys Town, An Exposé Without Bad Guys."

41. "Boys Town Bonanza," *Time,* April 10, 1972; "Boys Town's Worth Put at $209 Million," *Los Angeles Times,* March 31, 1972; "Money Machine," *Newsweek,* April 10, 1972; Tomkinson, "The Weekly Editor."

42. "Other Boys Homes Affected by Boys Town Story," *Omaha Sun,* December 14, 1972.

43. Undated two-page letter from Francis P. Schmitt to Boys Town supporters printed on Boys Town stationery; "Boys Town May Take Legal Steps to Initiate New Programs, Policies," *Omaha Sun,* December 14, 1972; correspondence between Paul Williams and the "Irreverent Reverend" Lester Kinsolving of the National Newspaper Syndicate Inc. of America, a muckraking religious columnist widely syndicated through the *San Francisco Chronicle.* Schmitt was angry because, among other things, Boys Town's marketing domicile had backfired: Kinsolving wrote a follow-up story in the *Washington Evening Star,* "Boys Town Money Machine" (November 4, 1972), and datelined it Boys Town, Nebraska. Schmitt (incorrectly) felt that he had no right to do so.

44. Paul Critchlow, "Boys Town Money Isn't Buying Happiness," *Philadelphia Inquirer,* July 20, 1973.

45. The Reverend Monsignor Wegner, letter to a man who said he was an employee of the *San Francisco Examiner* and worked in the composing room, June 1, 1973. The man wrote Lester Kinsolving at the *San Francisco Chronicle* and asked that his name not be used in a story, probably because he was offering it to a competing paper. Kinsolving apparently forwarded this material to Buffett.

46. Used with permission of the Omaha Press Club Foundation.

47. Warren Buffett letter to Edward Morrow, April 21, 1972.

48. Memo from Paul Williams to Buffett, October 13, 1972, including Buffett's comments.

49. Mick Rood note to personal files, January 19, 1973. Transcript, Mick Rood interview with Msgr. Nicholas Wegner.

50. The award was to "The Sun Newspapers of Omaha, of *The Sun Newspapers of Omaha:* For uncovering the large financial resources of Boys Town, Nebraska, leading to reforms in this charitable organization's solicitation and use of funds contributed by the public." It was the first time a weekly paper won for Local Investigative Specialized Reporting (although according to Pulitzer Center staff, weeklies had won before in categories other than investigative reporting).

51. However, Monsignor Wegner was described as "frail" and had had several recent surgeries. See Paul Critchlow, "Boys Town Money Isn't Buying Happiness."

52. Among the consultants' findings was that the Boys Town staff morale was now low, with many long-tenured employees having worked for years on church-mouse wages on the impression that Boys Town was barely getting by. In 1973, Boys Town actually raised more money than in 1972 (over $6 million), according to the *Omaha World-Herald* (March 21, 1973). The main result of the exposé and reforms was increased transparency and accountability over how the money was spent.

53. George Jerome Goodman (writing as "Adam Smith"), *Supermoney.* New York: Random House, 1972.

Goodman (known as Jerry) chose his pen name after Adam Smith, the father of market economics.

54. John Brooks, "A Wealth of Notions," *Washington Post,* October 22, 1972.

Chapter 36

1. Interview with Stan Lipsey. Scripps Howard owned 60% of the paper but had been ordered by the Department of Justice in 1968 to divest it on antitrust grounds because it also owned the *Cincinnati Post & Times-Star,* a competing paper. Blue Chip bought 10% of the *Enquirer*'s stock and tried to get the rest for $29.2 million in February 1971.

2. Scripps would have been interested in selling because it was looking at buying Journal Publishing and Albuquerque Publishing and could not own all three.

3. Graham thought that the only alternative to going public was to sell one of the company's TV stations, which she did not want to do. To protect the business from an unfriendly bidder, Beebe and family lawyer George Gillespie structured the stock sale in two tiers, with class A shares in the family's hands and class B stock, which carried diluted voting privileges, sold to the public. Katharine Graham, *Personal History.* New York: Alfred A. Knopf, 1997.

4. Graham told this story to Buffett.

5. Katharine Graham, *Personal History.*

6. Katharine Graham letter to Charlie Munger, December 23, 1974.

7. Katharine Graham, *Personal History.*

8. Katharine Graham interview with Charlie Rose, February 5, 1997.

9. Some of the nonvoting B shares went to Kay's brother, Bill, in exchange for an investment in the company. Kay's sisters were not investors in the *Post.* At the time, the unprofitable newspaper was less a financial asset than a public responsibility and a source of prestige.

10. Buffett's former golf coach Bob Dwyer was the office boy who performed this task, in between running copy for the *Post*'s editorial department.

11. Katharine Graham, *Personal History.*

12. These anecdotes are from *Personal History.*

13. C. David Heymann's *The Georgetown Ladies' Social Club* (New York: Atria Books, 2003)—a well-researched account of the most influential Washington hostesses and the private power they wielded—gave examples, such as a black eye, that indicated that on at least some occasions Phil Graham physically abused her.

14. Stories of the women with whom Phil Graham was involved and the allegation that he swapped girlfriends with Kennedy, including the actress-model Noel-Noel, are contained in *The Georgetown Ladies' Social Club.*

15. In her memoir, Graham attributed this partly to the subservience of women in her time and partly to her emotionally abusive upbringing. She seems to have had at least a partial grasp of her own role in enabling Phil's behavior.

16. Katharine Graham interview with Charlie Rose, February 5, 1997.

17. Ibid.

18. Interview with Don Graham.

19. Beebe had been a partner at Cravath, Swaine & Moore in New York and, under the direction of Don Swatland, in 1948 was instrumental in designing the structure that protected the *Post* from a sale outside the family.

20. Katharine Graham, *Personal History.*

21. McNamara later said he commissioned the "History of the United States Decision-Making Process on Vietnam Policy" to "bequeath to scholars the raw material from which they could reexamine the events of the time." Sanford J. Ungar, *The Papers and the Papers: An Account of the Legal and Political Battle over the Pentagon Papers 23-27.* New York: E. P. Dutton, 1972.

22. Dialogue between Graham and Bradlee has been condensed and edited for clarity from *Personal History* and her interview with Charlie Rose. Description of the scene is from *Personal History.*

23. Bob Woodward, "Hands Off, Mind On," *Washington Post,* July 23, 2001.

Chapter 37

1. Nixon made explicit threats about the licenses, but a paper trail did not surface to document this until May 1974 (Katharine Graham, *Personal History.* New York: Alfred A. Knopf, 1997). Graham filed an affidavit with the FCC on June 21, 1974, saying the challenge was "part of a White House–inspired effort to injure…the company in retaliation for its Watergate coverage." Morton Mintz, "Mrs. Graham Links White House, TV Fights," *Washington Post,* June 27, 1974; David E. Rosenbaum, "Threats by Nixon Reported on Tape Heard by Inquiry," *New York Times,* May 16, 1974.

2. Katharine Graham, *Personal History.*

3. Ibid.

4. All quotes on Meyer are from Cary Reich, *Financier: The Biography of André Meyer: A Story of Money, Power, and the Reshaping of American Business.* New York: William Morrow, 1983.

5. Cary Reich, *Financier.*

6. *"The whole company at one point got down to where it was selling for eighty million,"* Buffett says. *"We spent a little less than ten million bucks when all was said and done and paid a price that valued the company on average at a hundred million."*

7. Graham's memoir, which downplays her relationship with Meyer, credits Gillespie and Beebe for the idea of the two-class stock. Meyer's biographer, Cary Reich, credits Meyer for the idea. Given Meyer's talents as a banker, it seems unlikely he had no involvement.

8. Warren Buffett letter to Katharine Graham, May 1973.

9. Jim Hoagland, "A Journalist First," *Washington Post,* July 18, 2001.

10. Robert Kaiser, "The Storied Mrs. Graham," *Washington Post,* July 18, 2001.

11. Cary Reich used the term "irate" in *Financier.*

12. Interview with Arjay Miller.

13. Katharine Graham, *Personal History*.

14. "A Sure Thing? What Is Inside Information? Forget the black-and-white definitions. The real world often comes in gray, like at the San Jose Water Works," *Forbes,* September 1, 1973.

15. The company had disclosed in 1971 that the city was interested in buying it.

16. Interview with Bill Ruane.

17. Warren Buffett letter to Malcolm Forbes, August 31, 1973.

18. Interview with Bill Ruane.

19. Katharine Graham, *Personal History*.

20. Patrick Brogan, *The Short Life and Death of the National News Council: A Twentieth Century Fund Paper*. New York: Priority Press Publications, 1985. The Council survived for eleven years before giving up—a decade before the Internet became available—for lack of a viable outlet through which its findings could reach the public.

21. Interview with George Gillespie.

22. Interview with Don Graham.

23. Katharine Graham, *Personal History*.

24. October 20, 1973.

25. Graham's foreword to Meg Greenfield's *Washington.* New York: Public Affairs, 2001.

26. Graham more tactfully called him a "delightful and mischievous goad" in *Personal History*.

27. In her book, Graham recalls that "someone" mentioned the amortization of intangibles and that Howard Simons, unprompted, then challenged her to define it. Possibly Graham did not perceive herself as "showing off" when writing what was, after all, her own memoir.

28. Interview with Don Graham.

29. Interview with Liz Hylton.

30. The Dumbarton Oaks Conference; the Dumbarton Oaks Research Library and Collection.

31. Wisner was the widow of Frank Wisner, and married columnist Clayton Fritchey in 1975, becoming Polly Fritchey.

Chapter 38

1. Wattles, confusingly, bore the same name as Gurdon W. Wattles, the "streetcar king" of Omaha, who was no relation.

2. Interviews with Ed Anderson, Marshall Weinberg.

3. Buffett bought American Manufacturing at 40% of what he thought it was worth. "How Omaha Beats Wall Street," *Forbes,* November 1, 1969.

4. A couple of other people did what Wattles did—Thomas Mellon Evans and Jean Paul Getty. Buffett

followed Evans, too, while another Columbia friend, Jack Alexander, and his partner, Buddy Fox, followed Getty, who pyramided oil companies and wrote a book, *How to Be Rich* (not how to *get* rich). Evans, a Pittsburgh businessman, discussed in "Heirloom Collector," *Time,* May 11, 1959, operated through H. K. Porter and Crane Co. Wattles, who is virtually unknown today, was a director of Crane.

5. It didn't make you huge money unless you picked the shareholders' pockets, as some had done. An unscrupulous operator could milk the subsidiaries for money while saddling the shareholders of the parent company with an unsustainable amount of debt. John S. Tompkins, "Pyramid Devices of 20's Revived," *New York Times,* November 16, 1958.

6. "If I have seen further it is by standing on ye shoulders of giants." Letter from Isaac Newton to Robert Hooke, February 5, 1676.

7. "Fighting the Tape," *Forbes,* April 1, 1973. "I trust this man [Wattles] to do intelligent things," Ruane said. Shareholders had sued over the values in the merger, however, illustrating the conflicts created by the Wattles model.

8. Interview with Charlie Munger.

9. Blue Chip made two purchases totaling 137,700 shares, or 6%, of Wesco on July 11 and July 14, 1972. Between July 1972 and January 1973, Blue Chip bought another 51,300 shares, or 2% of the stock, through open market purchases on twenty different days.

10. "Not Disappointed, Says Analyst As Wesco, FSB Call Off Merger," *California Business,* March 15, 1973.

11. Wesco's equivalent book value per share at the exchange ratio offered was $23, compared to Santa Barbara's $8. Santa Barbara had zero unrestricted capital, whereas Wesco had $7 per equivalent share free net worth. Santa Barbara's earnings per equivalent share after bad debt accruals and deferred taxes were 28.7% lower than Wesco's.

12. This is Betty Casper Peters's recollection of how Buffett related the story to her.

13. A letter from Charlie Munger to Louis Vincenti, February 8, 1973, makes the case that Home Savings' (a California banking giant) cost structure was so low "because it is run like Wesco."

14. Interview with Betty Casper Peters.

15. Charles T. Munger testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Wednesday, March 19, 1975, p. 53. Warren E. Buffett testimony, March 21, 1975, pp. 61–63.

16. Interview with Charlie Munger.

17. "It is awkward," he wrote, "when we want to talk to you about alternatives to be provided by us for Wesco shareholders, to have you sort of prevented from considering anything unless and until released by FSB [Santa Barbara] or actions of ours…. I guess all we can do is have everyone act as best he can as the matter unfolds to an outcome now not entirely clear to us." Charles T. Munger letter to Louis R. Vincenti, February 8, 1973.

18. Charles T. Munger testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Wednesday, March 19, 1975, page 84.

19. Interview with Betty Casper Peters.

20. Minutes of the Special Meeting of Board of Directors of Wesco Financial Corporation, February 13, 1973.

21. Interview with Betty Casper Peters.

22. All analyst commentary from "Not Disappointed, Says Analyst As Wesco, FSB Call Off Merger," *California Business*.

23. Peters was grateful to them, writing to Don Koeppel two months later that the decision to kill the deal looked "heroic" because Santa Barbara's stock price had fallen from over $33 to $15.50.

24. Interview with Charlie Munger.

25. Blue Chip applied to the Federal Savings and Loan Insurance Corporation to buy 50% of Wesco, thereby turning Blue Chip, and potentially its affiliates Berkshire, Diversified, and others, into a savings-and-loan holding company. In the application, the companies said that Diversified had never considered Blue Chip a subsidiary but Diversified and its affiliates might be deemed to control Blue Chip by view of Buffett's ownership of the stocks of both as well as of Berkshire, which owned 17.1% of Blue Chip at the time.

26. Munger started looking at other California bank stocks and suggested that Wesco might buy a large block of Crocker National Bank.

27. "I have a personal, pronounced prejudice in favor of buying at a material discount from book value stock in extremely entrenched institutions which have earned between 11% and 13% on book value for a decade or more with a history of substantial and ever-increasing dividends. Moreover, I like the idea of diversifying the economic base at Wesco with something like a zero increase in overhead. I also like becoming the largest shareholder in substantial enterprises—on the theory that this adds a possible plus factor to investment performance." Charles T. Munger letter to Lou Vincenti, April 3, 1973.

28. Buffett's trading style that year suggested he might be pessimistic about the economy and was preparing for a downturn. He wrote straight covered-call options on Kennecott Copper and down-and-out options, a more sophisticated type of covered call that limits the downside and upside within a specified range, on several stocks such as Ford Motors, General Motors, and Black & Decker. Selling calls on the latter three economically sensitive stocks was not a market call, but does suggest that he was more pessimistic than optimistic about the economy. Letter from Warren Buffett to Jack Ringwalt, March 9, 1972.

29. At December 31, 1973, his *Post* stock was worth $7.9 million.

30. Catherine Elberfeld letter to Warren Buffett, May 1974.

31. Ben Graham wrote about this Eau Claire, Wisconsin, company in *The Intelligent Investor*.

32. *"I'd have made a hell of a lot more money if I hadn't sold it. I would have made a fortune out of the stock,"* Buffett says. He says he got off quickly when he learned the CEO had different deals with every director about pay. Vornado was under different management and owned discount stores. Today it is a real estate investment trust managed by Steven Roth.

33. Interview with Bob Malott.

34. Buffett says he immediately told Malott that FMC should buy back its own stock, which was cheap. Although FMC considered the idea, it didn't follow through.

35. Black enrollment had risen to one third and was projected to rise to nearly half in the fall. A desegregation suit was pending and the building did not conform to fire codes. Some white students had already transferred out of fears that Central and Tech High, the city's toughest school, would be merged. Dana Parsons, "Central Parents Express Fears, Seek Changes," *Omaha World-Herald,* May 9, 1974. The committee proposed changes that in effect created a magnet school oriented to college prep.

36. Mark Trustin, a neighbor, gave Hamilton to the Buffetts.

37. Interview with Susie Buffett Jr., who says she wasn't planning to become a police officer.

38. Interview with Peter Buffett.

39. Interview with Dave Stryker.

40. In the Temptations' world, men are the Daisy Maes: "Since I Lost My Baby," "The Way You Do the Things You Do," "(I Know) I'm Losing You," "I Can't Get Next to You," "Just My Imagination," "Treat Her like a Lady," and, of course, "Ain't Too Proud to Beg."

41. From several sources both close to Susie at the time and who knew her later.

42. Interview with Peter Buffett.

43. His dividends from Blue Chip were also about $160,000 per year before taxes.

44. By having Diversified buy insurance from ("reinsure") National Indemnity through its new subsidiary. The cash was transferred by paying a premium to Diversified. Charles T. Munger testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Thursday, March 20, 1975, pp. 188–194.

45. By year-end 1973, Reinsurance Corp. of Nebraska (renamed Columbia Insurance) had amassed investments of $9 million, which is indicative of its cash flows.

46. Charles T. Munger testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Wednesday, March 19, 1975. Both had previously owned some stock. Munger had bought a block and Gottesman bought stock his partners sold.

47. Charles T. Munger testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Thursday, March 20, 1975, p. 193.

48. Charles T. Munger testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Thursday, March 20, 1975, p. 190.

49. They were reported at the end of the year in DRC's annual report, but few people read it, and it took legwork and initiative to get more timely information from SEC Form 3s and 4s. DRC's 11.2% position was disclosed in BRK's 1973 annual report, as well as the fact that Warren and Susie owned 43% of DRC at the time too.

50. For $1.9 million.

51. Don Koeppel letter to Warren Buffett, June 15, 1973.

Chapter 39

1. From peak to trough in the Depression (September 3, 1929, to July 8, 1932), the Dow fell 89%. From peak to trough in the early 1970s (January 11, 1974, to December 6, 1974), the Dow fell 45%—the two worst bear markets of the century.

2. Robert Redford interview, cited by Graham in *Personal History.* New York: Alfred A. Knopf, 1997.

3. Katharine Graham, *Personal History.*

4. The television stations owned by both would have created a conflict.

5. Katharine Graham, *Personal History*.

6. Al Pagel, "What Makes Susie Sing?" *Omaha World-Herald,* April 17, 1977.

7. Interview with Gladys Kaiser.

8. From a letter that Graham wrote Buffett, reprinted in *Personal History.* Don Graham recalls his mother telling him that Susie cooked eggs for her, and Susie and Warren watched Kay eat them and did not eat any themselves.

9. Measured from its peak.

10. Interview with Charlie Munger.

11. "Fighting the Tape," *Forbes,* April 1, 1973.

12. The seat would have sold for a quarter of what Ruane, Cunniff had paid for it.

13. The record was 1970: Sequoia 12.11% vs. S&P 20.6%; 1971: Sequoia 13.64% vs. S&P 14.29%; 1972: Sequoia 3.61% vs. S&P 18.98%; 1973: Sequoia (24.8%) vs. S&P (14.72%).

14. Marshall Weinberg as well as Buffett confirmed this in interviews. Malott says he does not recall it.

15. Loomis joined Sandy Gottesman at First Manhattan; Brandt went to work at Abraham & Co.

16. "Look at All Those Beautiful, Scantily Clad Girls Out There!" *Forbes,* November 1, 1974.

17. "*Forbes* didn't use what I considered to be the most significant line," said Buffett in a letter to Pat Ellebracht on October 24, 1974, repeating this quote.

18. Interview with Rod Rathbun; Omni arbitration files of the National Indemnity Company.

19. Compounded over thirty years at 20%, this was perhaps a $2.4 billion investment return forgone. Buffett and Munger have referred to it as the greatest missed opportunity in the history of Berkshire Hathaway. The details are arcane but the essence of the story is as portrayed here.

20. "Why the SEC's Enforcer Is in Over His Head," *BusinessWeek,* October 11, 1976.

21. Interview with Verne McKenzie.

22. Letter from Charlie Munger to Chuck Rickershauser "re: Diversified Retailing—Berkshire Hathaway Proposed Merger," October 22, 1974.

23. Interview with Betty Casper Peters.

24. Interview with Verne McKenzie.

25. Robin Rickershauser, who has often heard this clever trope from her husband, did not realize he originated it until contacted by the author.

26. If true, investors would have been selling without required information about the buyer and his reasons.

27. Charles T. Munger testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Thursday, March 20, 1975, p. 112.

28. The increase in Santa Barbara's price if the deal collapsed would only partially hedge this risk.

29. Charles T. Munger testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Thursday, March 20, 1975, pp. 112–13.

30. Interview with Judge Stanley Sporkin.

31. Ibid. This lawyer was so particularly ferocious that the author was asked not to mention his name.

32. A thick file of documents produced in response to the SEC's February 1975 subpoena illustrates several points: 1) it contained no evidence that Buffett bought on inside information or expecting a takeover; 2) Buffett had become expert on water company regulation and ratemaking, and his interest and expertise in this narrow subject was prodigious; 3) this aspect of the investigation must have been intrusive and an embarrassing form of déjà vù, as it included production of his correspondence with *Forbes* that attempted to clear his name.

33. Partly because of state restrictions on how much stock any one insurance company could hold, the diagram was more complicated than it would have been otherwise. The version shown on pages 412–413 was created by Verne McKenzie and updated through 1977 (i.e., includes the *Buffalo News*). Berkshire was still negotiating with the SEC as late as 1978.

34. During Buffett's testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Friday, March 21, 1975, p. 125, he acknowledged that he and Munger had been buying shares of Wesco in the open market during a tender offer and Rickershauser had advised him to stop, saying that they should use only tender offers to accumulate further shares (which they did). Rickershauser interjected, "I want the record to be clear that I did not tell them it was illegal to do what was done. I told them it would be hard to convince somebody that in hindsight they may not have intended to do what they did. You can swear me in if you want to on that one. I didn't want to be right."

35. Said to a colleague.

36. The SEC apparently considered Buffett, Munger, and Guerin's interests and the companies a controlled group for purposes of tender offers. The combination of Warren (11%), Susie (2%), Munger and his partners (10%), Berkshire Hathaway (26%), and Diversified (16%) controlled 65% of Blue Chip's stock. Warren and Susie owned 36% of Berkshire and 44% of DRC. Munger owned 10% of DRC. DRC owned 15% of BRK and 16% of BC. BC owned 64% of Wesco.

37. The "harm principle" was articulated by scholars such as John Locke, Wilhelm von Humboldt, and John Stuart Mill, who argued that the sole purpose of law was to prevent harm, and the individual's liberty should not be encroached otherwise. The harm principle is the basis for certain portions of the U.S. Constitution.

38. Chuck Rickershauser Jr. letter to Stanley Sporkin, November 19, 1975.

39. Chuck Rickershauser Jr. letter to Stanley Sporkin, December 1, 1975.

40. Warren E. Buffett testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Friday, March 21, 1975, p. 157.

41. Charles T. Munger testimony, *In the Matter of Blue Chip Stamps, Berkshire Hathaway Incorporated,* HO-784, Thursday, March 20, 1975, p. 197.

42. Interview with Judge Stanley Sporkin. Sporkin served as general counsel to the CIA after leaving the SEC in 1981. He became Judge of the U.S. District Court for the District of Columbia in 1985 and served till his retirement in 2000.

43. Ibid. For more on Sporkin see Jack Willoughby, "Strictly Accountable," *Barron's*, April 7, 2003; Peter Brimelow, "Judge Stanley Sporkin? The Former SEC Activist Is Unfit for the Federal Branch," *Barron's,*

November 4, 1985; Robert M. Bleiberg, "Sporkin's Swan Song?" *Barron's,* February 2, 1981; "Why the SEC's Enforcer Is in Over His Head," *BusinessWeek,* October 11, 1976.

44. "I bet on a good horse," says Sporkin, "and the horse came in."

45. After the deregulation of the S&L industry, Santa Barbara lost $80.9 million during fifteen straight quarters in the early 1980s. In June of 1984, Ivan Boesky was close to buying it and infusing it with a desperately needed $34 million, but that fell through. In 1990 it was seized by federal regulators, placed in conservatorship, and operated by the Resolution Trust Corp. until Bank of America bought it in 1991 for $41 million.

46. The company also paid a $115,000 fine. "Consent to Judgment for Permanent Injunction and Other Relief," "Final Judgment for Permanent Injunction and for Other Relief and Mandatory Order and Consent with Respect Thereto," and "Complaint for a Permanent Injunction and Other Relief," *In the Matter of Securities and Exchange Commission vs. Blue Chip Stamps,* June 9, 1976.

47. The SEC Advisory Committee on Corporate Disclosure, July 30, 1976.

Chapter 40

1. Doug Smith, "Solid Buffett Voice Melts Debut Jitters," *Omaha World-Herald,* May 9, 1975.

2. Interview with Charlie Munger.

3. Charles Munger letter to Katharine Graham, December 9, 1974. Munger wrote "dilly" when he apparently meant "silly." For clarity, "silly" has been used in the text.

4. Interview with Fred Stanback.

5. Interviews with Roxanne Brandt, Walter Schloss. Brandt later jokingly admitted this was grounds for divorce.

6. *New York Daily News,* October 30, 1975.

7. As of December 2007, these shares would be worth $747 million.

8. That Buffett, who had never borrowed a significant amount of money in his life, thought it made sense for his sisters to buy Berkshire stock using borrowed money, with only 5% down, speaks volumes about how cheap he thought the stock was and how good its prospects were at the time.

9. Berkshire owned so much *Washington Post* stock and Buffett's position on the board was such that, if it bought a TV station, its ownership would be attributed to the *Washington Post,* pushing it over the limit of five stations that it could own.

10. Howard E. Stark letter to Warren Buffett, June 18, 1975. Also see Lee Smith, "A Small College Scores Big in the Investment Game," *Fortune,* December 18, 1978.

11. Katharine Graham, *Personal History.* New York: Alfred A. Knopf, 1997.

12. The new printing-press technology that owners had installed made management hostage to the skilled employees who knew how to run the complex equipment.

13. Katharine Graham, *Personal History.*

14. Ibid.

15. Interview with George Gillespie.

16. According to *Personal History,* this contract would have given the pressmen the highest wages in the nation and security from layoffs. Negotiations broke down in part because the *Post* refused to hire back the workers who had damaged the presses.

17. According to *Personal History,* fifteen former *Post* pressmen pleaded guilty to various misdemeanor charges. Six who had damaged presses and committed more serious crimes were jailed.

18. They sold their interest in Source Capital to its managers.

19. With the press strikes and Watergate affair behind her, Katharine Graham began to focus on growth at the *Washington Post* in the mid-1970s. Up until then, the company didn't have sufficient profits and there was "little more than a hit-or-miss strategy" for growth (*Personal History*). Sales and earnings started to take off in 1976, around the time that they started buying back company stock. Earnings per share were $1.36 in 1976 vs. $0.36 in 1970. Return on equity was 20% compared to 13%. Profit margin grew to 6.5% from 3.2%. And it kept improving from there (Value Line report, March 23, 1979).

20. Charles Munger letter to Katharine Graham, November 13, 1974.

21. Interview with Don Graham.

22. C. David Heymann, *The Georgetown Ladies' Social Club.* New York: Atria Books, 2003.

23. Interview with Don Graham.

24. Interview with Susie Buffett Jr., who credits her parents for not interfering.

25. Interview with Susie Buffett Jr.

26. Interview with Dick and Mary Holland.

27. Interview with Susie Buffett Jr.

28. Ibid.

29. Interview with Howie Buffett.

30. In an interview Peter Buffett described his routine at this time.

31. According to friends of Susie's who say she blamed Graham for the relationship.

32. Al Pagel, "What Makes Susie Sing?" *Omaha World-Herald,* April 17, 1977.

33. Ibid.

34. This is Jack Byrne's recollection of Davidson's remonstration in an interview. Jack being a colorful guy, it is possible that his recollection is a bit more colorful than what Davidson actually said.

35. Interview with Tony Nicely.

36. Warren Buffett memo to Carol Loomis, July 6, 1988.

37. By 1974, the whole insurance industry was producing what rating agency A. M. Best called "unbearable" losses of $2.5 billion from a vicious price war and inflation of everything from car repairs to lawsuits. (*A.M. Best Company Comment on the State of and Prospects for the Property/Liability Insurance Industry,* June

1975.) The states were also passing "no-fault" insurance legislation, which meant that insurers had to pay for an accident regardless of who caused it. The federal government also slapped price controls on the industry during the Middle East war. Meanwhile, the devastating stock market of 1973–74 had wiped so much value from GEICO's stock portfolio that for every share of stock, investments that had once been worth $3.90 were now worth a dime a share (Leonard Curry, "Policy Renewed: How GEICO Came Back from the Dead," *Regardie's,* October/November 1982).

38. GEICO had $500 million in premiums and would have needed capital of $125 million to meet regulatory and rating agency standards for leverage.

39. Interview with Sam Butler.

40. Interview with Jack Byrne. "The bastards at Travelers had passed me over for president for Ed Budd," recalls Byrne (who likes to tell this story and tells it often). "A million dollars invested with me is now worth a billion, and a million dollars invested with Ed Budd is now worth $750,000. And I used to be pissed, but obviously I'm more mature about it now. Well, I'm still pissed." This story is also recounted in William K. Klingaman, *GEICO, The First Forty Years.* Washington, D.C.: GEICO Corporation, 1994.

41. Interview with Jack Byrne.

42. "GEICO's Plans to Stay in the Black," *BusinessWeek,* June 20, 1977. It is Byrne's impression that Wallach did not like him.

43. GEICO had too little capital under regulatory standards to ensure its ability to pay claims on all its policies. By transferring some of its business to competitors, the company would relieve the strain on capital.

44. Interview with Rhoda and Bernie Sarnat.

45. Interview with Lou Simpson.

46. "Leo Goodwin Jr. Is Dead at 63; Headed GEICO Insurance Concern," *New York Times,* January 18, 1978; "Leo Goodwin, Financier, Son of Founder of GEICO," *Washington Post*, January 18, 1978.

47. Interview with Don Graham.

48. Leonard Curry, "Policy Renewed."

49. Warren Buffett memo to Carol Loomis, July 6, 1988.

50. Blue Chip bought 14% of Pinkerton's in March 1976 and Buffett went on the board, a thrill to the erstwhile boy detective who had also busted open Boys Town's hidden war chest.

51. Interview with Bill Scott.

52. Wallach had invited big insurers to buy up 40% of GEICO's reinsurance treaties, giving them until June 22 to make their decision to participate. Not enough insurers signed up. Wallach was supposed to decide by Friday, June 25, whether to shut GEICO down. He extended the deadline and, in mid-July, revised his rescue plan—requiring only 25% of GEICO's premiums to be taken up by the insurance pool and lowering the amount of capital they needed to raise by year-end to $50 million. Reginald Stuart, "Bankruptcy Threat Fails to Change Status of GEICO," *New York Times,* June 26, 1976; Reginald Stuart, "The GEICO Case Has Landed in His Lap," *New York Times,* July 4, 1976; Matthew L. Wald, "GEICO Plan Is Revised by Wallach," *New York Times,* July 16, 1976.

53. National Indemnity was a specialty company, not yet so large or well-known that it would cause too much push-back on the grounds of helping a competitor. Buffett's other insurers, as will be seen, were struggling.

54. Who knows what General McDermott actually wrote, but any endorsement at all from him would have carried weight among insurers.

55. Some of the people instrumental in making it happen were former GEICO employees, according to Byrne.

56. Interview with Jack Byrne.

57. John Gutfreund quoting Frinquelli in an interview. Frinquelli did not return calls requesting an interview.

58. Interview with Sam Butler.

59. Leonard Curry, "Policy Renewed." According to some sources, Butler also had an instrumental role in convincing Gutfreund to underwrite the deal.

60. Without a doubt it had not. Among other things, GEICO had failed to disclose a change in method of calculating loss reserves, which had enabled it to boost profits by $25 million during the second and third quarters of 1975. "In the Matter of GEICO et. al.," October 27, 1976.

61. Leonard Curry, "Policy Renewed."

62. Interview with John Gutfreund.

63. An indication of "aftermarket support" was a principal component in underwriters' assessments of how a stock might trade once it was listed. The presence of aftermarket support helped prevent a "busted deal" in which the underwriter had to buy back the offering with the firm's own capital.

64. Byrne's recollection is that Tom Harnett, the New York superintendent, helped rally the industry to get behind the reinsurance. Harnett, he believes, had an incentive because the New York guaranty fund was prefunded and had invested in Big Mac New York City bonds, which were selling at a fraction of their par value. The insolvency funds in effect had evaporated in the wake of New York City's financial crisis.

65. Byrne has told this story more vividly in times past. In Roger Lowenstein's *Buffett: The Making of a American Capitalist* (New York: Doubleday, 1996), he supposedly said to Sheeran, "Here's your fucking license. We are no longer a citizen of the state of New Jersey." He calls Sheeran "the worst insurance commissioner ever."

66. Disgruntled employees, hearing the news about their jobs, started throwing policies out the top-story window. "Files were floating all around North Jersey in the air," says Byrne. Nobody knew this until GEICO moved the claims office to Philadelphia, "when we went to move the files and they weren't there." Byrne estimates the lost data cost the company as much as $30–40 million in excess claims. GEICO also gave up its license in Massachusetts. It stopped writing business in many other states without surrendering the right to do so in the future. In total, the company nonrenewed 400,000 out of its 2.2 million policyholders.

67. Interview with Jack Byrne. The author first heard this story from a secretary who formerly worked for Byrne.

68. Interview with Tony Nicely. The length of these meetings sounds incredible, but Byrne seemed to have an almost superhuman energy.

69. Interview with Jack Byrne.

70. James L. Rowe Jr., "Fireman's Fund Picks Byrne," *Washington Post,* July 24, 1985; Sarah Oates, "Byrne Pulled GEICO Back from Edge of Bankruptcy," *Washington Post,* July 24, 1985.

71. Graham Group members, Buffett friends, and Berkshire employees such as Marshall Weinberg, Wyndham Robertson, Verne McKenzie, Gladys Kaiser, Bob Goldfarb, Tom Bolt, Hallie Smith, Howie Buffett, and Peter Buffett all remember Grossman fondly.

Chapter 41

1. Christopher Ogden, *Legacy, A Biography of Moses and Walter Annenberg.* Boston: Little, Brown, 1999; John Cooney, *The Annenbergs: The Salvaging of a Tainted Dynasty.* New York: Simon & Schuster, 1982.

2. Ogden, in *Legacy,* cites Annenberg as saying he declined to buy the *Washington Times-Herald* from Colonel McCormick and convinced McCormick to sell to the Grahams despite their reservations about Phil Graham's drinking and mental stability. Thus, he felt responsible for putting together the newspaper marriage that made the *Washington Post* what it had become. He felt slighted because the Grahams had never credited him. Buffett says that Annenberg was exaggerating his role and that Graham viewed this notion as ridiculous.

3. Drew Pearson, "Washington Merry-Go-Round: Annenberg Lifts Some British Brows," *Washington Post,* February 24, 1969.

4. Buffett's recollection of Annenberg's perspective on Nixon.

5. Description of the Annenbergs' reactions is from *Legacy.* Drew Pearson, "Senators Wary on Choice of Annenberg," *Washington Post,* March 5, 1969.

6. The comparison with Nixon was made by Annenberg's biographers.

7. In fact, the Annenbergs' investment of time, personal funds, and good judgment in a thoughtful restoration of Winfield House, the ambassadorial residence, played a key role in their acceptance in Britain.

8. C. David Heymann, *The Georgetown Ladies' Social Club* (New York: Atria Books, 2003) and *Legacy.* This is Walter Annenberg's account, and there is no telling what was really said. But, by all accounts, he was offended.

9. In the end, he gave most of his money to the Annenberg Foundation and his art collection to the Metropolitan Museum of Art.

10. Lally Weymouth, "Foundation Woes: The Saga of Henry Ford II, Part II," *New York Times Magazine,* March 12, 1978.

11. Walter Annenberg letter to Warren Buffett, October 1, 1992.

12. Donner was not entirely obliterated. In 1960, seven years after he died at age eighty-nine, the $44 million in assets in his foundation was divided equally—between a newly formed Donner Foundation and the original foundation, which changed its name to the Independence Foundation (www.independencefoundation.org).

13. Walter Annenberg letter to Warren Buffett, October 1, 1992.

14. Said to the author in an interview in 2003—an indicator of the direction of his thoughts at the time.

15. While most mergers are done for stock (if only for tax reasons), this subtle underlying psychology gives the seller a slight advantage. The willingness to issue stock implies, by its nature, that the buyer prefers the seller's business to his own. The exception is using an overpriced stock to buy an underpriced company from a naive seller, which aggressive buyers sometimes do, although not nearly as often as they think.

16. Graham's term, from her autobiography. Liz Smith called Graham Buffett's "frequent hostess" and Diana McLellan said, "All the way up in New York, they're talking about Kay Graham and Warren Buffet [sic]…but oh, so discreetly." Diana McLellan, "The Ear," *Washington Star,* March 12, 1977; Liz Smith,

"Mystery Entwined in Cassidy Tragedy," *Chicago Tribune,* March 6, 1977.

17. Heymann, *The Georgetown Ladies' Social Club.*

18. See, for example, her relationships with Jean Monnet, Adlai Stevenson.

19. The letter was described this way in Lowenstein, *Buffett.*

20. Graham showed Dan Grossman a copy of this letter. Susan Buffett also showed Doris Buffett a copy of this letter. Graham's papers currently are under seal.

21. Roger Lowenstein, *Buffett.*

22. "Interview with Susan Buffett," *Gateway*, March 5, 1976.

23. Peter Citron, "Seasoning Susie," *Omaha World-Herald,* April 7, 1976.

24. "Buffett Serious," *Omaha World-Herald,* September 14, 1976.

25. Buffett considered buying Alfred Knopf's apartment at 24 West 55th Street, later one of two landmarked Rockefeller apartments.

26. Interview with Susie Buffett Jr.

27. Interview with Al "Bud" Pagel.

28. Denenberg declined to be interviewed.

29. Al Pagel, "What Makes Susie Sing?" *Omaha World-Herald,* April 17, 1977.

30. Ibid.

31. Interview with Al "Bud" Pagel.

32. Ibid.

33. Peter Citron, "Seasoning Susie."

34. Interview with Stan Lipsey. See Leo Litwak, "Joy Is the Prize: A Trip to Esalen Institute," *New York Times Magazine,* December 31, 1967.

35. Steve Millburg, "Williams' Songs Outshine Voice," *Omaha World-Herald,* September 5, 1977.

36. Interview with Astrid Menks Buffett. The sleeping Warren famously did not notice whether Susie was there. In one story related by Racquel Newman, she decided to drive to Dottie's to play music at around ten or eleven at night, ran out of gas in a snowstorm at midnight on her way home, and instead of waking Warren, called a friend and went on an all-night obstacle-filled expedition to a gas station on the interstate, delayed by a tractor-trailer jackknifed on the freeway. She finally got home shortly before dawn. Warren never knew she was gone.

37. Said to a friend of the couple's who believes that Susie was probably sincere, both because she believed Warren really was that dependent on her and because of his preoccupation with suicide, linked to the many suicides among the Stahl family and the Buffetts' friends.

38. Warren Buffett, "How Inflation Swindles the Equity Investor," *Fortune,* May 1977. In a letter to the Graham Group, September 27, 1977, Bill Ruane describes how "This article can well serve as a basis for a

discussion of so many things which are central to our economic concerns today. The article not only deals with the central theme of inflation but also with the effects of taxes, rate of return, dividend paying capacity and other elements which are crucial to the appraisal of aggregate values in our economic system."

39. The Buffett Group would take this problem up again and again. Its members were pessimistic about whether the problem could be solved, for they doubted, with good reason, that Congress had the necessary resolve to control the federal budget over the long term.

40. Interview with Marshall Weinberg.

41. The $72 million includes his holdings in BRK, DRC, and Blue Chip Stamps at year-end 1977. Susie added another $6.5 million to this total. This does not include his indirect holdings through the three companies' cross-holdings of each other.

42. Interview with Peter Buffett.

43. Interview with Tom Newman.

44. Two sources have confirmed this.

45. Interview with Astrid Buffett.

46. Ibid.

47. Interview with Michael Adams.

48. Interview with Astrid Buffett.

49. The 1977 letter contains significantly more "teaching" content than its predecessor. Although Buffett had control of Berkshire for twelve years previously, the 1977 letter was the first to be collected in a bound collection of letters he used to hand out to friends and is the first year featured on Berkshire's website.

Chapter 42

1. Interview with Astrid Buffett.

2. Interview with Michael Adams.

3. Interview with Kelly Muchemore.

4. From a close friend of the family.

5. Buffett explained in conversation and a letter to the author how he felt, separating his life into two stages with age forty-seven as the turning point.

6. To the end of her life, Estey wrote letters with "Mrs. Benjamin Graham" embossed on her stationery.

7. Interview with the author, 2003.

8. Katharine Graham, *Personal History*. New York: Alfred A. Knopf, 1997.

9. Interview with Stan Lipsey.

10. Interview with Sharon Osberg.

11. Astrid Buffett recalled the VCR conversation in an interview.

12. Jeannie Lipsey Rosenblum and others recall the details in interviews.

13. Interview with Peter Buffett.

14. Bryant campaigned to make it illegal for gays to teach in public schools in Dade County, Florida, and succeeded in passing a civil-rights ordinance against gays.

15. The price included $1.5 million in pension liabilities. Blue Chip Stamps Annual Report, 1977. Blue Chip borrowed $30 million from a bank in April 1977 to finance the purchase.

16. Berkshire had assets of $379 million, Blue Chip had $200 million, DRC had $67.5 million at year-end 1977.

17. Warren and Susie personally owned 46% of Berkshire (both directly and indirectly, through their ownership of Blue Chip and Diversified, which owned Berkshire stock), and 35% of Blue Chip (both directly and indirectly).

18. Murray Light, *From Butler to Buffett: The Story Behind the Buffalo News* (Amherst, NY: Prometheus Books, 2004), who notes that only in the face of an inquiry from the Human Rights Commission in the early 1970s did Butler begin publishing wedding photos of African-Americans.

19. Interview with Stan Lipsey.

20. The *Evening News* put out a Saturday edition, but its weak ad lineage demonstrated the power of the Sunday edition of the *Courier-Express.*

21. If the trend had continued without the *Evening News* starting a Sunday paper, the logical outcome would have been either a joint operating agreement or outright acquisition of the *Courier-Express* to combine the papers—both expensive alternatives.

22. *Buffalo Courier-Express, Inc., v. Buffalo Evening News, Inc.,* Complaint for Damages and Injunctive Relief for Violation of the Federal Antitrust Laws (October 28, 1977).

23. Former *Courier-Express* reporter Michael A. Hiltzik posted on June 20, 2000, on Jim Romenesko's "Media News Extra," a recollection of the staff writing puff pieces on every local state judge in order to flatter whichever one was chosen. It was a "misguided strategy," he said, as the trial took place in federal court under Brieant. One of the profiles supposedly was titled "Judge Loses Firmness When He Doffs His Robe."

24. Interview with Ron Olson.

25. Jonathan R. Laing, "The Collector: Investor Who Piled Up $100 Million in the '60s Piles Up Firms Today," *Wall Street Journal,* March 31, 1977.

26. Testimony of Buffett, *Buffalo Courier-Express, Inc., v. Buffalo Evening News, Inc.,* November 4, 1977.

27. In Roger Lowenstein's *Buffett: The Making of an American Capitalist,* Bob Russell cited Warren as a boy wanting to charge money to people driving by the Russells' house. Buffett does not remember the incident, but if it occurred, most likely he was influenced by the city's efforts to convert the Douglas Street toll bridge—the only passageway over the Missouri River—to a free bridge, one of the most widely reported local news stories during his early youth.

28. The bridge was sold to Marty Maroun in 1979 for $30 million, 30% less than the inflation-adjusted cost of building it thirty years earlier. Maroun parlayed the bridge into an enormous fortune.

29. Findings and Conclusions, Motion for Preliminary Injunction, *Buffalo Courier-Express, Inc., v. Buffalo Evening News, Inc.,* November 9, 1977.

30. Dick Hirsch, "Read All About It," "Bflo Tales" in *Business First,* Winter 1978.

31. In its first full year under Buffett. Murray Light, *From Butler to Buffett.*

32. Interview with Stan Lipsey.

33. Ibid.

34. *Buffalo-Courier Express, Inc., v. Buffalo Evening News, Inc.,* United States Court of Appeals, Second Circuit, 601 F.2d 48, April 16, 1979.

35. Warren Buffett, "You Pay a Very High Price in the Stock Market for a Cheery Consensus," *Forbes,* August 6, 1979.

36. Interview with Wally Walker. Jobs did not respond to repeated requests for comment.

37. Warren Buffett, "You Pay a Very High Price in the Stock Market…."

38. Interview with Stan Lipsey.

39. Blue Chip Stamps 1980 annual report to shareholders.

40. Janet Lowe, *Damn Right!: Behind the Scenes with Berkshire Hathaway's Charlie Munger,* New York: John, Wiley & Sons, 2000.

41. Ibid.

42. Warren Buffett memo to employees, December 2, 1980.

43. At first, management and the unions tried to publish without the drivers (*Buffalo Evening News,* December 2, 1980). The striking union walked out over a pay difference of $41 a week.

44. It was selling 195,000 papers on Sundays, about $^{2}/3$ of its rivals. From Lowenstein, *Buffett,* Audit Bureau of Circulations figures as of March 1982.

45. The Blue Chip Stamps 1980 annual report to shareholders notes the litigation became "less active and costly" that year.

46. Interview with Ron Olson.

Chapter 43

1. From $89 million at the end of 1978 to $197 million in August 1980.

2. Interview with Charlotte Danly Jackson.

3. Interview with Verne McKenzie.

4. Affiliated Publications—bought for $3.5 million, jumped to $17 million after nine years. The *Washington Post*—bought for $10.6 million, now worth $103 million. GEICO—bought for $47.1 million, now worth almost seven times that, $310 million. Berkshire's total common stock portfolio was worth double its cost.

5. Buffett and Munger took out a loan of $40 million from Bank of America National Trust and Savings

Association for Blue Chip to protect against a rush of redemptions, according to Munger's testimony in the Blue Chip case.

6. In 1976, the U.S. District Court in Los Angeles had said that Blue Chip no longer had to dispose of one third of its business, recognizing that it was impractical after management contacted more than eighty potential buyers and had no serious bids. Sales shrank from $124 million to $9.2 million. The woes of the *Buffalo News,* which Blue Chip owned, made valuing Blue Chip problematic until 1983, given Buffett's proportional interests in the different companies versus other shareholders, principally Munger.

7. Berkshire Hathaway 1983 annual report.

8. In 1984, during a period of relatively high inflation, the union agreed to a wage freeze.

9. The Bank Holding Company Act of 1956 placed restrictions on bank holding companies (those owning more than 25% of two or more banks, i.e., the J. P. Morgans) owning nonbanking interests, in order to avoid monopolistic control in the banking industry. It was amended in 1966 and again in 1970 to further restrict the nonbanking activities of one-bank holding companies (such as Berkshire). In 1982, it was amended to further forbid banks from engaging in insurance underwriting or agency activities. In 1999, the Gramm-Leach-Bliley Act repealed parts of these acts.

10. Interview with Verne McKenzie. According to him and Buffett, Associated was never able to recover from the disintegration of urban centers after the 1960s and adapt to the new culture required to sell discount dresses in shopping malls.

11. Interview with Charlie Munger.

12. Interview with Howie Buffett.

13. Interviews with Dan Grossman, Peter Buffett.

14. Interview with Peter Buffett.

15. Interviews with Marvin Laird, Joel Paley.

16. Interview with Howie Buffett.

17. Ibid. As Susie Jr. says, "When Howie dies, it will be no ordinary death. It will probably be by falling out of a helicopter into a polar bear's mouth."

18. For a four-hundred-acre farm.

19. Interviews with Howie Buffett, Peter Buffett.

20. Peter Kiewit Sons' Inc. was founded by the original Peter Kiewit, a bricklayer of Dutch descent, in 1884. Dave Mack, "Colossus of Roads," *Omaha* magazine, July 1977; Harold B. Meyers, "The Biggest Invisible Builder in the World," *Fortune,* April 1966.

21. When Kiewit died, Buffett got the chance to take an apartment in Kiewit Plaza. He would have loved to do it, but Astrid didn't want to leave her garden. So they stayed on Farnam Street.

22. "Peter Kiewit: 'Time Is Common Denominator,'" *Omaha World-Herald,* undated, approximately November 2, 1979; Robert Dorr, "Kiewit Legacy Remains Significant," *Omaha World-Herald,* November 1, 1999; Harold B. Meyers, "The Biggest Invisible Builder in the World" interview with Walter Scott Jr., Peter Kiewit's successor, who also had an apartment at Kiewit Plaza.

23. Interview with Walter Scott Jr.

24. Peter Kiewit died on November 3, 1979. Warren Buffett, "Kiewit Legacy as Unusual as His Life," *Omaha World-Herald,* January 20, 1980.

25. Buffett read Flexner's autobiography three or four times and gave copies to his friends.

26. $38,453 for the year ended June 1980, of which $33,000 went toward colleges, the rest toward local organizations. Five years earlier, in June 1975, the foundation had assets of $400,000, with gifts of $28,498 to similar organizations.

27. Rick Guerin letter to Joe Rosenfield, October 1, 1985.

28. Warren Buffett letter to Shirley Anderson, Bill Ruane, and Katherine (Katie) Buffett, trustees of the Buffett Foundation, May 14, 1969.

29. Richard I. Kirkland Jr., "Should You Leave It All to the Children?" *Fortune,* September 29, 1986.

30. Larry Tisch as quoted by Roger Lowenstein, *Buffett.: The Making of an American Capitalist.* New York Doubleday, 1996. Tisch is deceased.

31. Kirkland, "Should You Leave It All to the Children?"

32. Warren Buffett letter to Jerry Orans, cited in Lowenstein, *Buffett*.

Chapter 44

1. *The Dream that Mrs. B Built,* May 21, 1980, Channel 7 KETV. Mrs. Blumkin's quotes have been rearranged and slightly edited for length.

2. Ibid.

3. "The Life and Times of Rose Blumkin, an American Original," *Omaha World-Herald,* December 12, 1993.

4. Ibid.

5. Minsk, near Moscow, is relatively close to the Eastern European border of Russia, which would have been a difficult passage during the war. Her route created a longer trip than traveling between San Francisco and New York by train three times, then winding back to Omaha.

6. "The Life and Times of Rose Blumkin, an American Original."

7. This and most of the other details of Mrs. B's journey are from a Blumkin family history.

8. *The Dream that Mrs. B Built.*

9. Around 1915, roughly 6,000 Russian Jews lived in Omaha and South Omaha, part of a general migration beginning in the 1880s to escape the pogroms (anti-Jewish riots) that began after the assassination of Czar Alexander II. Most started out as peddlers and small-shop owners, serving the large immigrant working class drawn by the railroads and stockyards. Until 1930, Omaha had the largest percentage of foreign-born residents of any U.S. city. Lawrence H. Larsen and Barbara J. Cottrell, *The Gate City.* Lincoln: University of Nebraska Press, 1997.

10. Interview with Louis Blumkin. His father was comparing the pawnshop to the many banks that failed during this period.

11. *The Dream that Mrs. B Built.*

12. Ibid.

13. Louis Blumkin, who says she sold for $120 coats that cost her $100 and retailed for $200 elsewhere in town.

14. *The Dream that Mrs. B Built.*

15. "The Life and Times of Rose Blumkin, an American Original."

16. Interview with Louis Blumkin.

17. Ibid. They were carving out a piece of their allotments for her.

18. "The Life and Times of Rose Blumkin, an American Original."

19. Interview with Louis Blumkin.

20. James A. Fussell, "Nebraska Furniture Legend," *Omaha World-Herald,* August 11, 1988.

21. Interview with Louis Blumkin.

22. "The Life and Times of Rose Blumkin, an American Original."

23. Joyce Wadler, "Furnishing a Life," *Washington Post,* May 24, 1984.

24. "The Life and Times of Rose Blumkin, an American Original."

25. *The Dream that Mrs. B Built.*

26. "The Life and Times of Rose Blumkin, an American Original."

27. Joyce Wadler, "Blumkin: Sofa, So Good: The First Lady of Furniture, Flourishing at 90," *Washington Post,* May 24, 1984.

28. Buffett, in a letter to Jack Byrne in 1983, noted that Levitz stores averaged about 75% the size of NFM and did 10% the volume of NFM.

29. Buffett noted in the 1984 annual report that NFM operated with exceptional efficiency. Its operating expenses were 16.5% of sales, compared to 35.6% at Levitz, its largest competitor.

30. Warren Buffett letter to Jack Byrne, December 12, 1983.

31. Frank E. James, "Furniture Czarina," *Wall Street Journal,* May 23, 1984.

32. Speech given at Stanford Law School on March 23, 1990. "Berkshire Hathaway's Warren E. Buffett, Lessons From the Master," *Outstanding Investor Digest,* Vol. V, No. 3., April 18, 1990.

33. Chris Olson, "Mrs. B Uses Home to Eat and Sleep; 'That's About It,'" *Omaha World-Herald,* October, 28, 1984.

34. Joyce Wadler, "Furnishing a Life."

35. "Mrs. B Means Business," *USA Today,* April 1, 1986.

36. Bella Eisenberg letter to Warren Buffett, June 8, 1984.

37. "I can hear my mother [saying it] now," said Louis Blumkin in an interview.

38. *The Dream that Mrs. B Built.*

39. In the documentary *The Dream that Mrs. B Built,* Blumkin refers to this incident and said Buffett didn't want to give her the price she wanted and she told him he was too cheap.

40. Interview with Louis Blumkin.

41. Possibly it might have had something to do with her early years of sleeping on straw on a bare wood floor.

42. Joyce Wadler, "Blumkin: Sofa, So Good: The First Lady of Furniture, Flourishing at 90."

43. James A. Fussell, "Nebraska Furniture Legend."

44. Berkshire Hathaway 1983 chairman's letter. Initially, Berkshire bought 90% of the business, leaving 10% with the family, and optioning 10% back to certain key young family managers.

45. Contract for sale of Nebraska Furniture Mart, August 30, 1983.

46. Robert Dorr, "Furniture Mart Handshake Deal," *Omaha World-Herald,* September 15, 1983.

47. Buffett's sentimental fondness for Mrs. B is notable in light of her similarity to his mother in the sense of her outbursts of abuse toward her family and employees. Only rarely did he take the risk of associating with anyone who could blow up on him.

48. Warren Buffett letter to Rose Blumkin, September 30, 1983.

49. From a retired Berkshire employee (not Verne McKenzie, the star of this anecdote).

50. Interview with Verne McKenzie.

51. Several Buffett Group members swear to the exact number.

52. Adam Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations,* Book IV, 1776.

53. Interview with Stan Lipsey.

54. "A Tribute to Mrs. B," *Omaha World-Herald,* May 20, 1984; John Brademas, President, New York University, letter to Rose Blumkin, April 12, 1984.

55. Interview with Louis Blumkin.

56. Joyce Wadler, "Blumkin: Sofa, So Good: The First Lady of Furniture, Flourishing at 90."

57. Interview with Louis Blumkin.

58. Warren Buffett letter to Larry Tisch, May 29, 1984.

59. Beth Botts, Elizabeth Edwardsen, Bob Jensen, Stephen Kofe, and Richard T. Stout, "The CornFed Capitalist," *Regardie's,* February 1986.

60. Robert Dorr, "Son Says No One Wanted Mrs. B to Leave," *Omaha World-Herald,* May 13, 1989.

61. Andrew Kilpatrick, *Of Permanent Value: The Story of Warren Buffett/More in '04* (California edition). Alabama: AKPE, 2004.

62. Robert Dorr, "Son Says No One Wanted Mrs. B to Leave."

63. Sonja Schwarer, "From Wheelchair, Mrs. B Plans Leasing Expansion," *Omaha Metro Update,* February 11, 1990; James Cox, "Furniture Queen Battles Grandsons for Throne," *USA Today,* November 27, 1989.

64. Robert Dorr, "Garage Sale Is Big Success for Mrs. B," *Omaha World-Herald,* July 17, 1989.

65. Andrew Kilpatrick, *Of Permanent Value.*

66. Bob Brown, Joe Pfifferling, "Mrs. B Rides Again: An ABC *20/20* Television News Story," 1990.

67. "A Businessman Speaks His Piece on Mrs. Blumkin," *Furniture Today,* June 4, 1984, Berkshire Hathaway 1984 annual report. Buffett used a line like this with great frequency as a tag to label a person or situation so that other parts of the bathtub could drain.

68. Linda Grant, "The $4-Billion Regular Guy: Junk Bonds, No. Greenmail, Never. Warren Buffett Invests Money the Old-Fashioned Way," *Los Angeles Times,* April 7, 1991.

69. Interview with Louis Blumkin.

70. Harold W. Andersen, "Mrs. B Deserves Our Admiration," *Omaha World-Herald,* September 20, 1987; Robert Dorr, "This Time, Mrs. B Gets Sweet Deal," *Omaha World-Herald,* September 18, 1987.

Chapter 45

1. Interview with Peter Buffett.

2. Interview with Doris Buffett.

3. Witnessed by a source close to the family who described it in an interview.

4. AIDS had first been discovered among homosexual men in the summer of 1981, but it was reported as pneumonia and as a rare, fatal form of cancer. President Reagan made his first mention of AIDS in September 1985 after his friend, the actor Rock Hudson, announced that he had been diagnosed with the disease.

5. Interagency Coalition on AIDS and Development. Also see *And the Band Played On* (New York: St. Martin's Press, 1987) by journalist Randy Shilts, who covered AIDS full-time in the early '80s for the *San Francisco Chronicle.*

6. Interview with Marvin Laird and Joel Paley.

7. This story was pieced together from conversations with a number of sources.

8. Alan Levin, "Berkshire Hathaway to Close," *New Bedford Standard-Times,* August 12, 1985.

9. A four-year-old loom that had cost $5,000 went for $26 as scrap. Some of the equipment went to a textile museum.

10. Buffett used the term "disaster" in the 1978 chairman's letter, discussing NICO workers' comp businesses' bad performance, which he laid largely at the door of industry problems.

11. Interviews with Verne McKenzie, Dan Grossman. The man was an agent who allegedly embezzled from Berkshire.

12. Interview with Tom Murphy.

13. Interview with Verne McKenzie.

14. Interview with Dan Grossman.

15. Several reinsurance managers presided during a short-lived interregnum: Brunhilda Hufnagle, Steven Gluckstern, and Michael Palm. For various reasons, none of them stuck.

16. Sir Arthur Conan Doyle, *The Memoirs of Sherlock Holmes: The Adventure of Silver Blaze.* London: George Newnes, 1894. (The story in Mark Haddon's prize-winning novel *The Curious Incident of the Dog in the Night-time* [New York: Doubleday, 2003] kicks off with a dead poodle speared with a garden fork.)

17. Rob Urban, "Jain, Buffett Pupil, Boosts Berkshire Cash as Succession Looms," *Bloomberg News,* July 11, 2006. While the author has been acquainted with Jain for years, he declined repeated requests to be interviewed.

Chapter 46

1. The Dow was sitting at 875 on the first day of 1982. It had hit that level for the first time back in September 1964.

2. Corporate profits reached what would become the second-lowest point in a fifty-five-year period in 1983 (the lowest was 1992), according to Corporate Reports, Empirical Research Analysis Partners. Data 1952 through 2007.

3. Banks lost their fear of bad credit through the combination of an emerging asset bubble, simple greed, the advent of securitization, and an eagerness to find toehold ways to fund equity transactions, a signal that the wall between commercial and investment banks erected by the Depression-era Glass-Steagall Act was beginning to break down.

4. Eric J. Weiner, *What Goes Up: The Uncensored History of Modern Wall Street as Told by the Bankers, Brokers, CEOs, and Scoundrels Who Made It Happen.* New York: Little, Brown, 2005.

5. They started out as investment-grade bonds, but when their issuers cratered, the bonds became so cheap that they paid a higher rate; e.g., a bond that yielded 7% would yield 10% if the price of the bond dropped to 70% of par.

6. See Connie Bruck, *The Predators' Ball: The Inside Story of Drexel Burnham and the Rise of the Junk Bond Raiders.* New York: The American Lawyer: Simon & Schuster, 1988.

7. Typically the deals worked either by giving shareholders who sold a higher price but leaving a much weakened company for those who didn't, or by offering a premium that was only a fraction of the value the buyer would create through actions the former management should have taken themselves. Or both.

8. Leonard Goldenson with Marvin J. Wolf, *Beating the Odds.* New York: Charles Scribner's Sons, 1991.

9. Everyone from Saul Steinberg to Larry Tisch had taken a stake in the company. Meanwhile, management's first-choice buyer was IBM. In the end, Cap Cities proved a strong fit because of the complementary TV license and the minimum divestiture required.

10. Interview with Tom Murphy.

11. Ibid. Details are also recounted in Leonard Goldenson with Marvin J. Wolf, *Beating the Odds.*

12. Buffett paid sixteen times earnings for Cap Cities, a 60% premium to its recent price, and, on banker Bruce Wasserstein's insistence, threw in warrants that gave the seller a continuing equity stake in ABC. These terms, arguably, are the most lenient Buffett ever struck and suggest how badly he and Murphy wanted to buy ABC. Charlie Munger wrote to the Buffett Group on January 11, 1983, that Tom Murphy at Cap Cities had "compounded the value of his original 1958 investment at 23% per annum for 25 years." Donaldson, Lufkin & Jenrette report February 26, 1980: "Earnings per share growth has compounded at 20% annually over the past decade and this rate has accelerated to 27% over the last five years."

13. Geraldine Fabrikant, "Not Ready for Prime Time?" *New York Times,* April 12, 1987.

14. Murphy and his #2, Dan Burke, picked and chose to make divestitures required by the FCC. They kept eight TV, five AM radio, and five FM radio stations. Geraldine Fabrikant, Marc Frons, Mark N. Vamos, Elizabeth Ehrlich, John Wilke, Dave Griffiths, and Christopher S. Eklund, "A Star Is Born—the ABC/Cap Cities Merger Opens the Door to More Media Takeovers," *BusinessWeek,* April 1, 1985; Richard Stevenson, "Merger Forcing Station Sales," *New York Times,* April 1, 1985.

15. With 1984 sales of $3.7 billion, ABC earned $195 million, whereas Cap Cities, one third its size, earned $135 million on sales of $940 million. The disparity in profitability was mainly due to the different economics of network affiliate stations versus the network itself but also to Murphy and Burke's management skills.

16. According to "Extortion Charge Thrown Out; Judge Cancels $75,000 Bond," *Omaha World-Herald,* March 19, 1987, charges against Robert J. Cohen were dismissed after the case was referred to the Douglas County Board of Mental Health and Cohen was moved to the Douglas County Hospital from the Douglas County Corrections Center. Terry Hyland, in "Bail Set at $25,000 for Man in Omaha Extortion Case," *Omaha World-Herald,* February 5, 1987, refers to the kidnapping plan.

17. Interview with Gladys Kaiser.

18. Ibid.

19. Based on examples of actual letters received.

20. Interview with Gladys Kaiser.

21. Interviews with Howie Buffett, Peter Buffett, Susie Buffett Jr.

22. Interview with Susie Buffett Jr.

23. Alan Farnham, "The Children of the Rich and Famous," *Fortune,* September 10, 1990.

24. Interview with Howie Buffett.

25. Interview with Peter Buffett.

26. Billy Rogers letter to Warren Buffett, August 17, 1986.

27. Warren Buffett letter to Billy Rogers, August 22, 1986.

28. Billy Rogers letter to Warren Buffett, undated.

29. Interviews with Tom Newman, Kathleen Cole.

30. Richard I. Kirkland Jr., "Should You Leave It All to the Children?" *Fortune,* September 29, 1986.

31. Interview with Kathleen Cole.

32. Interview with Ron Parks.

33. Interview with Peter Buffett. He was so shaken that he dialed "0" instead of "911," as if taken back to childhood.

34. "Billy Rogers Died of Drug Overdose," *Omaha World-Herald,* April 2, 1987; "Cause Is Sought in Death of Jazz Guitarist Rogers," *Omaha World-Herald,* February 21, 1987.

35. Interview with Arjay Miller.

36. Interviews with Verne McKenzie, Malcolm "Kim" Chace III, Don Wurster, Dick and Mary Holland.

37. Interview with George Brumley.

38. Louis Jean-Baptiste Alphonse Bachelier, *Theory of Speculation,* 1900. Bachelier applied the scientific theory of "Brownian motion" to the market, probably the first of many attempts to bring the rigor and prestige of hard science to the soft science of economics.

39. Charles Ellis, *Investment Policy: How to Win the Loser's Game.* Illinois: Dow-Jones-Irwin, 1985, which is based on his article "Winning the Loser's Game" in the July/August 1975 issue of the *Financial Analysts Journal.*

40. The modern-day equivalents of Tweedy Browne's Jamaica Water warrants still exist, for example.

41. Burton Malkiel, *A Random Walk Down Wall Street.* New York: W. W. Norton, 1973.

42. Aside from the *Superinvestors* article, Buffett did not write about EMH directly until the Berkshire 1987 shareholders letter, but he had led up to it with related subjects such as excessive trading turnover since 1979.

43. Transcript of Graham and Dodd 50th Anniversary Seminar. Jensen at the time was professor and director of the Managerial Economics Research Center of the University of Rochester Graduate School of Management. Within a year, he would be at Harvard, where he remains as professor of business administration emeritus.

44. Stanley Perlmeter and the *Washington Post* pension fund. Although, as this book illustrates, Buffett shared ideas with some of these investors in the early days—for example, when he was short on capital—more often the use of similar rules led them to similar veins of ore.

45. One subtle underpinning of EMH was a free-market, quasilibertarian philosophy that aligned with the spirit of deregulation and Reaganomics, under which investors could fend for themselves as free agents in an unfettered self-regulating market. Thus one side effect of EMH was to subtly build support for other types of market deregulation and for government and Federal Reserve actions that arguably contributed to later asset bubbles.

46. Beta can be a godsend in helping manage an unmanageably large portfolio. Criticism of beta could also, therefore, be directed at the investors who put money into unmanageably large funds that are diversified this way, and then expect them to outperform the market every year, if not every quarter.

47. Hedge funds in this form, pioneered by A. W. Jones, preceded popularization of the random-walk academic theory.

48. In a worst-case scenario, both sides of an arbitrage go the wrong way—the short rises, the long falls. This is the "earthquake risk" of the arbitrageur.

49. Buffett, speaking at the 1994 Berkshire annual shareholder meeting. Munger made the "twaddle and bullshit" comment at the 2001 shareholder meeting.

50. The model with junk bonds was based on average credit history, not the behavior of the stock or bond market. The two models are not only related, but have the same basic flaw, which is that "earthquake events" are never factored in correctly—because if they were, the model would reveal a prohibitively high cost of capital.

51. With the introduction of equity index futures in 1982, Buffett started trading these instruments as a hedge. Nevertheless, he wrote Congressman John Dingell, chairman of the House Energy and Commerce Committee, warning about their risk, and likewise wrote to Don Graham, "So much for the many claims as to hedge and investment type utilization; in actual practice, virtually all contracts involve short-term highly leveraged gambling—with the brokers taking a bite out of every dollar of public participation." Letter from Warren Buffett to Mr. and Mrs. Don Graham, January 18, 1983.

52. Berkshire Hathaway annual letter, 1985. The deal was $320 million in cash and the rest in assumed debt and other costs. "Scott Fetzer Holders Clear Sale of Company," *Wall Street Journal,* December 30, 1985. In Berkshire's 2000 annual report, Buffett points out that BRK netted $1.03 billion from its net purchase price of $230 million.

53. Interview with Jamie Dimon.

54. Berkshire had $4.44 billion of assets on its books at the end of 1986, including $1.2 billion of unrealized gains on equities. Liquidating before the reform, Berkshire itself could have avoided paying any taxes, with the shareholders paying their 20% tax on the gain, or $244 million. If BRK liquidated after the Tax Reform Act took effect, Berkshire would be paying $414 million in corporate taxes (more than $185 million of which would have accrued to Buffett), before handing over the net proceeds to investors to pay a double tax, adding up to a maximum of a 52.5% tax on the $1.2 billion unrealized appreciation, or $640 million. Thus the total effect was $400 million. See also James D. Gwartney and Randall G. Holcombe, "Optimal Capital Gains Tax Policy: Lessons from the 1970s, 1980s, and 1990s," A Joint Economic Committee Study, United States Congress, June 1997.

55. Berkshire Hathaway annual report, 1986. Notably, Buffett phrases the statement in terms of the costly consequences if Berkshire liquidated after the act, not the huge benefits that would have resulted from liquidating before the act went into effect.

56. This measuring stick has pros and cons, which are covered in investing books. Bottom line, it is a reasonable, conservative measure that can be distorted by acquisitions (something Buffett had discussed; see General Re).

57. Interviews with Walter Scott Jr., Suzanne Scott; also Jonathan R. Laing, "The Other Man From Omaha," *Barron's,* June 17, 1995.

58. Interview with Walter Scott Jr.

59. Interview with Clyde Reighard.

60. Jerry Bowyer, in *National Review,* August 11, 2006, wrote that Reagan's "supply-side policies have helped Warren Buffet [sic] amass the world's second-largest pile of wealth, which he routinely uses as a stage on which to stand and denounce the very supply-side measures that helped lift him to incredible prosperity." It is true that like any investor, Buffett has benefited from the supply-side policies that reduce his personal taxes on investment income and capital gains. Notably, much of that benefit is effectively offset by Berkshire Hathaway's taxes. Since the Reagan years, Citizens for Tax Justice and the Institute on Taxation and Economic Policy have been studying the annual reports of the top 250+ companies in the U.S., always coming to the conclusion that they are severely underpaying. See Robert S. McIntyre and T. D. Coo Nguyen, *Corporate Taxes & Corporate Freeloaders* (August 1985), *Corporate Income Taxes in the 1990s* (October

2000), *Corporate Income Taxes in the Bush Years* (September 2004). The top 250 companies in the U.S., while growing profits substantially, have consistently been shown to pay a fraction of the actual corporate tax rate throughout the 1980s, '90s, and today, due to breaks for depreciation, stock options, research, etc. Berkshire, however, has averaged a 30% effective tax rate (net earnings before taxes, divided by the taxes paid currently) since 1986—offsetting Buffett's personal tax benefits. Regardless, Buffett's taxes are irrelevant to whether he is entitled to criticize supply-side policies.

61. Robert Sobel, *Salomon Brothers 1910–1985, Advancing to Leadership,* Salomon Brothers, Inc., 1986.

62. In other words, current partners were paid a premium above their invested capital by Phibro, in which retired partners who had already withdrawn their capital did not share.

63. Anthony Bianco, "The King of Wall Street—How Salomon Brothers Rose to the Top—And How It Wields Its Power," *BusinessWeek,* December 5, 1985.

64. In the "Night of the Long Knives," June 30–July 2, 1934, Hitler executed at least eighty-five perceived enemies of his regime and arrested a thousand others.

65. James Sterngold, "Too Far, Too Fast: Salomon Brothers' John Gutfreund," *New York Times,* January 10, 1988.

66. Paul Keers, "The Last Waltz: He had the power, she craved the position. Life was a ball until he had to resign in disgrace and an era ended," *Toronto Star,* September 1, 1991.

67. Roger Lowenstein, *Buffett: The Making of an American Capitalist.* New York: Doubleday, 1996, who did not identify the executive giving this description.

68. Paul Keers, "The Last Waltz" Carol Vogel, "Susan Gutfreund: High Finances, High Living," *New York Times,* January 10, 1988; David Michaels, "The Nutcracker Suit," *Manhattan, Inc.,* December 1984; John Taylor, "Hard to Be Rich: The Rise and Wobble of the Gutfreunds," *New York,* January 11, 1988.

69. As Mrs. Bavardage.

70. Paul Keers, "The Last Waltz" Cathy Horyn, "The Rise and Fall of John Gutfreund; For the Salomon Bros. Ex-Head, a High Profile at Work & Play," *Washington Post,* August 19, 1991.

71. Robert Sobel, *Salomon Brothers 1910–1985, Advancing to Leadership.*

72. The combative, powerful banker Bruce Wasserstein, a merger specialist, was supposedly going to run the firm. Gutfreund and his key lieutenants knew they would be instantly replaced by Wasserstein. And Perelman as the largest shareholder might scare clients away.

73. Salomon bought the Minorco block itself at $38, a 19% premium to the stock's $32 market price. It then offered Buffett the stock at the same price. The premium was typical for similar deals at the time (which were also criticized). The stock conveyed 12% voting power in the firm. Perelman offered $42 and said he might raise his stake to 25%.

74. Salomon made a number of missteps. It took on a buyout of TVX Broadcast Group that ultimately failed, muffed a leveraged buyout of Southland Corporation, and wound up holding the bag on a problematic Grand Union buyout. After five unsuccessful years, Salomon exited the merchant-banking business in 1992.

75. Sarah Bartlett, "Salomon's Risky New Frontier," *New York Times,* March 7, 1989.

76. Buffett viewed his investment in Salomon as being like a bond. If he had wonderful stock ideas like GEICO or American Express, he would not be looking at bond equivalents and would not have done this deal.

77. Interview with John Gutfreund.

78. Interviews with John Gutfreund, Donald Feuerstein. Feuerstein's son went to school with one of Perelman's children. He knew Perelman was observant and parlayed for a critical delay past the holiday.

79. According to Graham and Dodd, preferred stocks marry the least attractive features of equity and debt. "As a class," they wrote, "preferred shares are distinctly more vulnerable to adverse developments than are bonds." Benjamin Graham and David L. Dodd, *Security Analysis, Principles and Teaching.* New York: McGraw-Hill, 1934, Chapter 26. Preferreds are often described as "bonds with a kicker," combining the safety of a bond with the upside of a stock. However, as Graham and Dodd note, this is not really correct. If a company gets in trouble, preferreds lack an enforceable claim to the interest and principal. When things go well, unlike a common stock, the investor has no right to the company's profits. Speaking at the University of Florida in 1998, Buffett said, *"The test of a senior security is whether you are getting an above-average return, after tax, and feel certain of getting your principal back."* Here, the preference to the common was meaningless.

80. Beginning October 31, 1995, in five installments over four years, it was mandatory to either convert into Salomon stock or "put" it back to the company for cash. Perelman offered to beat Buffett's deal—and Gutfreund and several other managers told the board they would quit. He offered a conversion price of $42, much more attractive from Salomon's point of view. He would have owned only 10.9% of Salomon, compared to Buffett's 12%.

81. If a potential buyer for his block of convertible preferred appeared, Buffett was obliged to offer Salomon first refusal. Even if it did not buy back the shares, he was prohibited from selling his entire block to any one purchaser. Berkshire also agreed to limit its investment in Salomon to no more than 20% for seven years.

82. Michael Lewis, *Liar's Poker: Rising Through the Wreckage on Wall Street.* New York: W. W. Norton, 1989.

83. Interview with Paula Orlowski Blair.

Chapter 47

1. Berkshire Hathaway letter to shareholders, 1990; Michael Lewis, "The Temptation of St. Warren," *New Republic,* February 17, 1992.

2. At the University of Notre Dame, spring 1991. Cited in Linda Grant, "The $4-Billion Regular Guy: Junk Bonds, No. Greenmail, Never. Warren Buffett Invests Money the Old-Fashioned Way," *Los Angeles Times,* April 7, 1991.

3. In "How to Tame the Casino Economy," *Washington Post,* December 7, 1986, Buffett advocated a 100% confiscatory tax on profits from the sale of stocks or derivative instruments that the holder has owned for less than a year.

4. Linda Grant, "The $4-Billion Regular Guy." Buffett hosannaed Gutfreund in his shareholder letters as well.

5. The principal conflicts inherent in Salomon's business were the undisclosed bid-ask spread that Buffett had objected to while working for his father's firm in Omaha, the conflict between proprietary trades for the firm's account alongside customer trades, the investment banking business built off equity research stock ratings, and the arbitrage department, which could trade on the firm's merger deals. As a board member who made Berkshire's investment decisions, Buffett says he either recused himself from discussions involving deals or did not invest on information he had, yet his board membership did create the appearance of a conflict of interest.

6. The Standard & Poor's 500 index was used as a proxy for the market.

7. Bertie would never make this bet. Since childhood, Warren had beaten her at every game they ever played; never once had he let her win. She would have known that he would eat a potato chip just so she would have had to pay up.

8. Letter from Warren E. Buffett to the Honorable John Dingell, U.S. House of Representatives, March 5, 1982.

9. In the interest of brevity, the history of portfolio insurance has been shortened considerably. The rout began as the Federal Reserve raised the discount rate over Labor Day weekend 1987. Over the next month, the market wavered and showed signs that investors were nervous. On October 6, the Dow broke a one-day record when it fell 91.55 points. Interest rates continued to climb. The Dow dropped another 108 points on Friday, October 16. Professional money managers spent the weekend pondering. On Black Monday, October 19, many stocks failed to open at all in the early hours of trading and the Dow fell a record-breaking 508 points. The exact cause of the crash remains in dispute. Program trading and equity index futures accelerated the decline, but economic factors, military tensions, comments by Federal Reserve Chairman Alan Greenspan about the dollar, a slowing economy, and other factors have been blamed.

10. Interviews with Ed Anderson, Bill and Ruth Scott, Marshall Weinberg, Fred Stanback, Tom Knapp.

11. Interview with Walter Scott Jr.

12. In this case, the way to be hedged would be to short a broad group or index of stocks.

13. This account is based on both Doris's and Warren's versions of the story.

14. James Sterngold, "Too Far, Too Fast: Salomon Brothers' John Gutfreund," *New York Times,* January 10, 1988.

15. Salomon supplied its clients' debt needs along all points of the maturity ladder. For a bond shop to eliminate its commercial paper department was a baffling decision.

16. Four past option grants to Gutfreund were about to expire worthless and a fifth would have yielded only a trivial gain. The revised exercise price reaped Gutfreund an estimated $3 million. The impact of swapping all stock options for new options affected 2.9% of outstanding shares. Salomon's 1987 proxy did not disclose the repricing and instead contained an additional $4.5 million or 3.4% stock-option grant (Graef Crystal, "The Bad Seed," *Financial World,* October 15, 1991).

17. Interview with Bob Zeller.

18. Ibid. Zeller says that Buffett represented the shareholders' interests on the compensation committee with integrity, while trying to determine which employees genuinely deserved reward.

19. John Taylor, "Hard to Be Rich: The Rise and Wobble of the Gutfreunds," *New York,* January 11, 1988.

20. Interviews with John Gutfreund, Gedale Horowitz.

21. Interview with Tom Strauss.

22. While technically the terms of the preferred stock didn't work that way, if Buffett wanted to, he could have found a way to get out.

23. Carol Loomis, "The Inside Story of Warren Buffett," *Fortune,* April 11, 1988. Buffett stated these rumors were false in the article.

24. Katharine Graham letter to the members of the Buffett Group, December 14, 1987. She added a personal note to Warren's copy: "Here is what I sent out. Hope it is ok and I don't get lynched."

25. Investors use different periods to estimate cash flows—from ten years to forever ("perpetuity")—as well as different interest rates. Buffett's margin of safety, however, was big enough to essentially eliminate the differences in methods; his view was that debating such precision mattered less than applying a big haircut. The key assumption is what growth rate the business is assumed to have—and for how long.

26. Robert L. Rose, "We Should All Have an Audience This Receptive Once in Our Lives," *Wall Street Journal,* May 25, 1988.

27. Or 14,172,500 KO shares costing $593 million at an average price of $41.81 (or $5.23 split adjusted for the three 2-for-1 stock splits that occurred between 1988 and 2007). All shares and prices are adjusted for subsequent stock splits.

28. Interview with Walter Schloss.

29. At that point, KO's market value represented 21% of the total market capitalization of Berkshire Hathaway—by far the biggest bet, in dollar terms, that Buffett had ever made on a single stock. Yet in percentage terms, this fit his past pattern.

30. Interview with Howie Buffett.

31. Michael Lewis, *Liar's Poker: Rising Through the Wreckage on Wall Street.* New York: W. W. Norton, 1989.

32. BRK received a 9.25% coupon from the Champion preferred, above the going rate of 7%, and raised debt at 5.5% to fund this $300 million purchase. Champion called the preferred early, but Berkshire was able to convert its shares prior to the call and sell them back to the company at a small discount. Berkshire booked a 19% after-tax capital gain over the six years it held Champion.

33. Linda Sandler, "Heard on the Street: Buffett's Special Role Lands Him Deals Other Holders Can't Get," *Wall Street Journal,* August 14, 1989.

34. From an interview with a friend who said this to Munger.

35. Speech at Terry College of Business, the University of Georgia, July 2001.

36. Interview with John Macfarlane.

37. Interview with Paula Orlowski Blair; Michael Lewis, *Liar's Poker.*

38. Many contracts required posting of collateral or margin, but this did not compensate for the risk of mismarking in the model.

39. Buffett and Munger, 1999 Berkshire Hathaway annual shareholder meeting.

40. Salomon held on for eight years. Phibro sold its share in the JV in 1998. Alan A. Block, "Reflections on resource expropriation and capital flight in the Confederation," *Crime, Law and Social Change,* October 2003.

41. Roger Lowenstein, *When Genius Failed: The Rise and Fall of Long-Term Capital Management.* New York: Random House, 2000.

42. Interview with Eric Rosenfeld.

43. Meriwether characteristically exempted himself from this lucrative deal.

44. Report to the Salomon Inc. Compensation & Employee Benefits Committee, "Securities Segment Proposed 1990, Compensation for Current Managing Directors."

45. This pay deal was still one-sided; the arbs could only break even or win. Buffett's partnership had exposed him to unlimited liability to share in losses if he performed poorly—i.e., his incentives were *truly* aligned with his partners.

46. Michael Siconolfi, "These Days, Biggest Paychecks on Wall Street Don't Go to Chiefs," *Wall Street Journal,* March 26, 1991.

47. Interview with Deryck Maughan.

48. Using different terms. The casino/restaurant analogy was Buffett's. Even if the customer businesses had become profitable, they would have demanded even larger amounts of capital in later years, despite bigger scale and market share, and it is questionable whether their returns would ever have satisfied Buffett.

49. Interview with Eric Rosenfeld.

Chapter 48

1. Michael Lewis, *Liar's Poker: Rising Through the Wreckage on Wall Street.* New York: W. W. Norton, 1989.

2. Feuerstein had worked in several senior roles at the SEC, including acting as counsel on Texas Gulf Sulfur, a landmark insider-trading case.

3. Interview with Donald Feuerstein and many others, who confirmed his role and the POD nickname.

4. Interviews with Donald Feuerstein, Tom Strauss, Deryck Maughan, Bill McIntosh, John Macfarlane, Zach Snow, Eric Rosenfeld.

5. Interview with Bill McIntosh.

6. Interview with John Macfarlane.

7. Roger Lowenstein, *Buffett: The Making of an American Capitalist.* New York: Doubleday, 1996, quoting Eric Rosenfeld.

8. Lowenstein, *Buffett,* quoting John McDonough.

9. Interview with Eric Rosenfeld.

10. Interview with Donald Feuerstein.

11. Feuerstein went back into the conference room after talking to Munger and repeated the "thumb-sucking" comment to another lawyer, Zach Snow, without further context. He did not seem to have grasped its significance, according to Snow in an interview. Feuerstein says Munger said, "Warren and I do that all the time." Whatever the wording, neither Feuerstein nor Buffett took alarm at Munger's remark.

12. Interview with Gerald Corrigan.

13. Feuerstein had had breakfast with one director, Gedale Horowitz, and told him much the same story, slightly more informatively, on the morning of August 8. But Horowitz says he also felt misled.

14. Carol Loomis, "Warren Buffett's Wild Ride at Salomon," *Fortune,* October 27, 1997.

15. Munger's later statement that he dragged this out of Feuerstein differs from Feuerstein's recollection. Both agree that Munger was given a clear description. There is no question that Buffett and Munger's overall interpretation of the actions of both Feuerstein and Gutfreund grew harsher as more information came to light.

16. Statement of Salomon Inc., submitted in conjunction with the Testimony of Warren E. Buffett, Chairman and CEO of Salomon, before the Securities Subcommittee, Committee of Banking, Housing and Urban Affairs, U.S. Senate, September 10, 1991.

17. Mercury Asset Management (an affiliate of S.G. Warburg) and the Quantum Fund. When the Federal Reserve contacted Salomon, it was initially because S.G. Warburg had bid in its own name as a primary dealer (Statement of Salomon Inc., September 10, 1991).

18. Charles T. Munger testimony before U.S. Securities & Exchange Commission, "In the Matter of Certain Treasury Notes and Other Government Securities," File No. HO-2513, February 6, 1992.

19. Ibid.

20. Michael Siconolfi, Constance Mitchell, Tom Herman, Michael R. Sesit, David Wessel, "The Big Squeeze: Salomon's Admission of T-Note Infractions Gives Market a Jolt—Firm's Share of One Auction May Have Reached 85%; Investigations Under Way—How Much Did Bosses Know?" *Wall Street Journal,* August 12, 1991.

21. Buffett later said Wachtell, Lipton shared some blame, noting that Wachtell declared effective on August 8 a shelf registration for $5 billion of medium-term notes using a prospectus that was "purporting to state all material facts about Salomon" as of that date but contained no reference to Mozer's activities or management's inaction. *"If this relaxed position was one that Wachtell, Lipton was conveying to the government and the public through official filings, it is not unlikely that they were conveying something similar to John, although I don't know what,"* Buffett said.

22. Interview with John Macfarlane.

23. Interview with Bob Denham, who discovered this when he moved into Feuerstein's old office.

24. Charles T. Munger testimony before U.S. Securities & Exchange Commission, "In the Matter of Certain Treasury Notes and Other Government Securities," File No. HO-2513, February 6, 1992.

25. If its lenders failed to renew the firm's loans, Salomon would be forced to liquidate its assets almost overnight. In such a fire sale, assets would sell for a fraction of their carrying value. The apparently invincible balance sheet of Salomon would melt into bankruptcy's black hole immediately.

26. Interview with Bill McIntosh.

27. Interviews with Donald Feuerstein, John Macfarlane.

28. Mozer didn't report an existing net "long," "when-issued" position in Treasury bonds that put it over the limit, and he also submitted another false bid in the name of Tiger Management Company.

29. Mozer denied intentionally manipulating the market. He was suspected of "repo-ing out" the bonds by borrowing cash from customers with the bonds as collateral and making verbal side agreements with these customers that they would not relend the bonds to anyone. That froze the supply of bonds, squeezing the short-sellers. Suspicions of price-fixing dogged Salomon long afterward. There was little doubt that Mozer and his customers had cornered the bonds and created a squeeze. According to Eric Rosenfeld, Salomon's own arb desk was short Treasuries and got burned.

30. Constance Mitchell, "Market Mayhem: Salomon's 'Squeeze' in May Auction Left Many Players Reeling—In St. Louis, One Bond Arb Saw $400,000 Vanish and His Job Go with It—From Confidence to Panic," *Wall Street Journal,* October 31, 1991.

31. Feuerstein didn't find this out right away, even though it was known internally. He blames this omission for his failure to press for a more thorough investigation of the squeeze. Several people, including Meriwether, apparently knew about the "Tiger dinner" (named after one of the hedge-fund customers). However, the "Tiger dinner" did not prove collusion.

32. Interview with John Gutfreund.

33. Or whatever the price was; this is Buffett's general recollection.

34. While this was taking place, Salomon filed a shelf registration statement in connection with a $5 billion senior debt offering, which the directors signed. The filing of a registration statement under these circumstances potentially put the firm in violation of securities laws.

35. Some thought the squeeze may have been simply a matter of timing to make a bet that the Fed was about to ease interest rates, according to Eric Rosenfeld, rather than defiance of the Treasury.

36. Various viewpoints within the firm are drawn from interviews with a number of the principals.

37. Interviews with Donald Feuerstein, Zachary Snow. Feuerstein says he happened to be taking his son on a college visit at Cornell University that day and was "furious" when he found out later what happened.

38. Interview with Donald Feuerstein. Feuerstein referred to his failure to influence Gutfreund as the result of Gutfreund's yessing him to death, saying, "It is difficult to have an argument with someone who purports to agree with you" (Donald M. Feuerstein letter to William F. May, Charles T. Munger, Robert G. Zeller, and Simon M. Lorne, Munger, Tolles & Olson, January 31, 1993).

39. Interview with Zach Snow. Snow says that the dream haunted him long afterward. Feuerstein does not recall this incident but says that if something like this happened it did not come across this way to him.

40. Philip Howard, Gutfreund's lawyer, speaking to Ron Insana on CNBC *Inside Opinion,* April 20, 1995.

41. John Gutfreund speaking to Ron Insana, CNBC *Inside Opinion,* April 20, 1995.

42. The auctions of December 27, 1990 (4-year notes), February 7, 1991 (the so-called "billion-dollar practical joke"), and February 21, 1991 (5-year notes) contained false bids. The April 25, 1991, auction included a bid in excess of the amount authorized by a customer. In the May 22, 1991 (2-year-notes) auction, Salomon (Mozer) failed to report a net "long" position to the government, as required, which fueled suspicions of a cover-up of market manipulation, but proof of market manipulation was never found.

43. Interview with Zach Snow, who also testified to this under oath in 1994.

44. Interview with Deryck Maughan.

45. Interview with Jerry Corrigan.

46. Even though he was Mozer's boss, Meriwether did not have the authority to fire him; one managing director could not fire another. Only Gutfreund could do that.

47. Interview with Bill McIntosh.

48. Interviews with John Macfarlane, Deryck Maughan.

49. McIntosh, by his own admission, had been no fan of Gutfreund's prior to this event.

50. Interview with Bill McIntosh.

51. Spread-widening of ten to twenty basis points only attracted more sellers. As the afternoon wore on, the traders widened the spread until finally they were offering only ninety cents on the dollar for the notes. The price implied a reasonably high probability of default.

52. The firm would still do business as an "agent," which meant it would buy only if it had another buyer in hand to which it could resell the notes.

53. Kurt Eichenwald, "Wall Street Sees a Serious Threat to Salomon Bros.—ILLEGAL BIDDING FALLOUT—High-Level Resignations and Client Defections Feared—Firm's Stock Drops," *New York Times,* August 16, 1991.

54. Interview with Jerry Corrigan.

55. Strauss later related this to Buffett.

56. Interview with Jerry Corrigan.

57. Interview with Jerry Corrigan.

58. Interview with Jerry Corrigan. He says that Strauss and Gutfreund had had more than one routine conversation with him between April and June without mentioning anything, and he no longer trusted them.

59. Buffett arrived in New York between 2:30 and 3:00 p.m., during which time the press release would have been drafted and ready to go.

60. From Salomon press release dated August 16, 1991: "In order to give the Salomon Inc., board of directors maximum flexibility, they are prepared to submit their resignations at a special meeting of the board."

61. Interview with Eric Rosenfeld.

62. Interview with Bill McIntosh, Tom Strauss, Deryck Maughan.

63. Interview with Tom Strauss.

64. Interview with Jerry Corrigan.

65. Interview with Ron Olson.

66. Warren Buffett testimony, "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc." Sessions 13 & 14, November 29, 1993.

67. This is Buffett's recollection of Gutfreund's remarks. (From Warren Buffett testimony, "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc.," Sessions 13 & 14, November 29, 1993.

68. Interview with Tom Strauss.

69. On October 8, 1991, he was displaced when the Walton family, owners of Wal-Mart stock, took over spots 3-7; Buffett became number 8. Entertainment mogul John Kluge and Bill Gates occupied the top two spots.

70. Through a routine letter to Mercury Asset Management when the Treasury Department discovered that Mercury, together with its affiliate S. G. Warburg & Co., had submitted bids for greater than the 35% limit rule for the auction. Mozer had submitted one of these bids without Mercury's authority. Mozer was copied on this letter and covered it up by telling Mercury that Salomon had mistakenly submitted this bid in its name—and was going to correct it, so no need to bother responding to the Treasury. (Statement of Salomon Inc., submitted in conjunction with the Testimony of Warren E. Buffett, Chairman and CEO of Salomon. Before the Securities Subcommittee, Committee of Banking, Housing and Urban Affairs, U.S. Senate, September 10, 1991.)

71. Interview with Deryck Maughan.

72. Speech to students in 1994 at University of North Carolina Kenan-Flagler Business School.

73. The one exception was Stanley Shopkorn, who ran the equities division and, by others' recollections, thought he should get the job.

74. Michael Lewis, *Liar's Poker*.

75. Ibid.

76. Swope fired them all and turned the firm into a radical Black Power, "Truth & Soul" agency.

77. Interview with Deryck Maughan.

78. Interview with Eric Rosenfeld, who says no threats were made. But because Meriwether was not bound by a noncompete, it was obvious that the whole arb team would leave sooner or later.

79. Gutfreund told Buffett that Susan was telling him he was unemployable.

80. Interview with Philip Howard. Warren Buffett testimony, "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc.," Sessions 13 & 14, November 29, 1993.

81. Interview with Warren Buffett; Warren Buffett testimony, "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc.," Sessions 13 & 14, November 29, 1993, cited this remark as evidence that Gutfreund knew he did not have a deal. (Munger's version of the quote was "I won't let you guys screw me.")

82. Interview with Philip Howard.

83. Warren Buffett testimony, "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc.," Sessions 13 & 14.

84. Warren Buffett, Charles T. Munger, testimonies, "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc.," Sessions 13 & 14, 33 & 34.

85. Charles T. Munger testimony, "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc.," Sessions 33 & 34, December 22, 1993.

86. Interview with Gedale Horowitz.

87. The Japanese bond market would not open until 7:30 P.M. EST, but Japanese over-the-counter trading would begin as early as 5 P.M., at which point lenders would start selling Salomon's paper, effectively calling its loans.

88. Interview with John Macfarlane.

89. Warren Buffett testimony, "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc.," Sessions 13 & 14, November 29, 1993.

90. Interview with Jerry Corrigan.

91. Jerry Corrigan and Paul Volcker contributed insight to this topic.

92. At the time, it was well understood that Buffett had "parlayed his considerable reputation into a partial rescission of the order," although what that meant to him was not obvious. (Saul Hansell, Beth Selby, Henny Sender, "Who Should Run Salomon Brothers?" *Institutional Investor,* Vol. 25, No. 10, September 1, 1991.)

93. Interview with Deryck Maughan.

94. Interview with Charlie Munger.

95. Interview with Deryck Maughan.

96. Hansell, Selby, and Sender, "Who Should Run Salomon?"

97. Ibid.

Chapter 49

1. Interview with Paula Orlowski Blair.

2. Interview with Bill McLucas.

3. This is Buffett's recollection of the quote, but Brady's view that Buffett would not leave was corroborated by other regulators.

4. Interview with Paula Orlowski Blair. She thought it funny that her new boss wanted to turn her into a private eye.

5. Interviews with Donald Feuerstein, Bob Denham. Denham says only that they agreed a change was needed.

6. Warren Buffett testified to this in "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc.," Sessions 13 & 14, November 29, 1993.

7. During John Gutfreund's arbitration hearing.

8. A number of sources said this to the author but were afraid to be quoted.

9. The firm became Munger, Tolles & Olson in 1986.

10. Law-firm sources and former employees give Buffett all of the credit for this idea, despite the law firm's putative role.

11. Drexel Burnham Lambert had failed after its indictment. Kidder, Peabody was sold to PaineWebber. Salomon's highly leveraged balance sheet put the firm in even greater jeopardy.

12. Interview with Ron Olson.

13. Ibid.

14. Ibid.

15. Interview with Frank Barron. Rudolph Giuliani, U.S. Attorney for the Southern District of New York, had pressed for Drexel Burnham Lambert to waive the privilege, but the firm did not.

16. Charlie Munger later acknowledged the morally fraught—at best, ambiguous—situation, saying he and Buffett had no choice but to assist in criminal investigation and prosecution of potentially innocent employees. "When the final chapter is written, the behavior evinced by Salomon will be followed in other, similar cases," he said. "People will be smart enough to realize this is the response we want—super-prompt—even if it means cashiering some people who may not deserve it." Lawrie P. Cohen, "Buffett Shows Tough Side to Salomon and Gutfreund," *Wall Street Journal,* November 8, 1991.

17. Warren Buffett letter to Norman Pearlstine, November 18, 1991.

18. Buffett testified to this in "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc.," Sessions 13 and 14, November 29, 1993.

19. "I didn't fire them on the spot," said Olson in an interview. "I was a little more subtle than that."

20. Interviews with Carolyn Smith, Warren Buffett. He added Smith to his collection of people, writing to the head of the hotel about her, corresponding with her, and putting her on his Christmas list.

21. Interviews with Gladys Kaiser and Bob Denham.

22. House Committee on Energy and Commerce—Telecommunications & Finance Subcommittee, September 4, 1991, regarding securities trading violations by Salomon Brothers and implications for government securities market reform legislation.

23. Maughan had to go back to Washington a few weeks later to testify by himself. "The sea did not part," he says, "and I got thoroughly wet."

24. "Our goal is going to be that stated many decades ago by J. P. Morgan, who wished to see his bank transact 'first-class business in a first-class way.'" Warren Buffett, "SALOMON INC—A report by the Chairman on the Company's Position and Outlook."(This wording was also used in a letter to Salomon Inc., shareholders as reprinted in the *Wall Street Journal,* November 1, 1991.)

25. Senate Subcommittee on Securities Committee on Banking, Housing, and Urban Affairs—Hearing on the Activities of Salomon Brothers Inc., in Treasury Bond Activities, Wednesday, September 11, 1991.

26. At the time, sixty-five lenders had stopped entering into repurchase agreements with Salomon, and the firm's commercial-paper balance was falling toward zero. One major counterparty, Security Pacific, was refusing to do daylight foreign-exchange trades without posting of collateral. Buffett says this was his absolute low point. The news media never picked up this story, which, if reported, could have kicked off a panic.

27. Interview with John Macfarlane. The cost of funds motivated traders to run off uneconomic trades. Ultimately the rate went to 400 basis points over Fed Funds rate. The short-term capital-intensive trades like the "carry-trade" (interest arbitrage) ran off.

28. Interview with John Macfarlane.

29. Senate Subcommittee on Securities Committee on Banking, Housing, and Urban Affairs—Hearing on the Activities of Salomon Brothers, Inc., in Treasury Bond Activities, Wednesday, September 11, 1991.

30. By then, many other people, including Denham and Munger, had found out about the Sternlight letter, but they say everybody thought somebody else had told Buffett or that he somehow knew. Buffett and Munger were also incensed to learn that at the June audit committee meeting, with Feuerstein present, Arthur

Andersen represented that no events had taken place that were required to be reported to the SEC or the New York Stock Exchange. While Wachtell, Lipton had indeed taken that position, this statement, with hindsight, was manifestly untrue.

31. Employees asked how much Buffett and Munger understood about the workings of Salomon before August 1991, while serving on the board, uniformly said "not much," or words to that effect, and that information was skillfully meted out to the board so that much of the firm's messiness never surfaced.

32. Lawrie P. Cohen, "Buffett Shows Tough Side to Salomon."

33. Interview with Gladys Kaiser.

34. Buffett cannot remember who did this—although it was neither Astrid, who retires early, nor someone from the office. He thinks it must have been some other local friend or neighbor.

35. Although securities underwriters sell service, price, and expertise, ultimately they are financial guarantors. Salomon's financial-strength ratings had been downgraded. With a criminal indictment and its primary dealership threatened, that the firm managed to retain any banking clients remains one of Wall Street's great survival stories. It did so by giving up lead positions and switching to co-lead, in effect taking on a supporting-cast-member role. Nevertheless, its market share fell from 8% to 2%.

36. Interview with Eric Rosenfeld.

37. Interview with Paula Orlowski Blair. Morse Shoe filed for bankruptcy in July 1991 just weeks after Berkshire agreed to buy H. H. Brown Shoes. Berkshire acquired Lowell Shoe, a subsidiary of Morse Shoe, at the end of 1992, and also bought Dexter Shoe in 1993.

38. Smith Barney, Shearson Lehman, and UBS Securities. The ensuing witch-hunt atmosphere also caused Morgan Stanley to put out a statement denying it was the subject of a government investigation.

39. The Treasury Department/Fed study also revealed that, over a period beginning in early 1986, Salomon had bought more than half the bonds issued in 30 out of 230 auctions (Louis Uchitelle, Stephen Labaton, "When the Regulators Stood Still," *New York Times,* September 22, 1991).

40. Warren Buffett testimony, "In the Matter of Arbitration Between John H. Gutfreund against Salomon Inc., and Salomon Brothers Inc." Session 13 & 14, November 29, 1993.

41. Contracts differ by employee, by company, and by state, and the indemnification provisions use broad wording that is subject to interpretation, but in general, corporate officers accept the legal risk that goes with their position on the condition that their employers pay legal fees unless they are convicted of fraud or other criminal wrongdoing or have engaged in willful misconduct. Salomon's action was highly unusual at the time and remains unusual. In 2005, KPMG's refusal to pay its partners' legal fees became the subject of lawsuits. In July 2007, a U.S. federal judge dismissed a case against thirteen KPMG employees for promoting aggressive tax shelters, because he determined that the government had strong-armed KPMG into denying them legal payments.

42. Transcript of Federal Open Market Committee meeting, October 1, 1991.

43. Interview with Gary Naftalis.

44. Interview with Otto Obermaier.

45. Ibid.

46. Interview with Gary Naftalis.

47. Interview with Otto Obermaier.

48. Letter to Salomon Inc., shareholders as reprinted in the *Wall Street Journal,* November 1, 1991.

49. Interview with Paula Orlowski Blair.

50. Ibid.

51. Salomon advertisement in the *Wall Street Journal,* November 1, 1991. All of Salomon's growth in earnings for several years had been given back to employees. Salomon performed in the bottom third of stocks in its market-cap class. The third-quarter-income statement would have been drenched with red ink had not the lower bonus pool reversed it. The previous "share the wealth" approach subsidized money-losers so that everyone was richly paid. Buffett's biggest change was to link bonuses to individual and division performance. For the five years ending December 31, 1991, Salomon Inc.'s stock ranked 437th in performance among S&P's top 500 stocks. (1991 Salomon Inc., 10K)

52. Interview with Deryck Maughan.

53. Interview with Jim Robinson.

54. For decades, as a partnership, it had—literally—been run for the employees. It was the inherent separation of capital and labor at a publicly owned investment bank that was the problem.

55. Otto Obermaier. He later wrote "Do the Right Thing: But if a Company Doesn't It Can Limit the Damage," *Barron's,* December 14, 1992.

56. The same was not true of the May two-year note squeeze, in which several small firms were bankrupted. Had it ever been proven that Mozer colluded with the hedge funds to corner the market or submitted false bids in that auction, Salomon's and the individuals' penalties doubtless would have been more severe; the whole story might have ended differently.

57. Interviews with Frank Barron and Bill McLucas. McLucas confirms the gist but can't recall the exact words.

58. Interview with Otto Obermaier.

59. Mozer served his four months after pleading guilty to lying to the Federal Reserve Bank of New York. The SEC and prosecutors took no action against Feuerstein.

60. Gutfreund was also barred from heading a firm without SEC approval.

61. Interview with Paula Orlowski Blair.

62. In fact, Jerry Corrigan did not lift the full ban on Salomon until August 1992.

63. CNBC *Inside Opinion,* Ron Insana interview with Gutfreund, April 20, 1995.

64. Interview with John Gutfreund.

65. Interview with Charlie Munger.

66. The arbitrators were John J. Curran, Harry Aronsohn, and Matthew J. Tolan.

67. Interview with Frank Barron.

68. Those who have spent any significant amount of time with Munger will instantly recognize the sensation

of talking to him when his head is turned off, while something occasionally pierces his band of indifference. *"It's hard to pierce Charlie's band of indifference,"* says Buffett. *"I can tell you that."*

69. Charles T. Munger testimony, "In the Matter of Arbitration Between John H. Gutfreund against Salomon, Inc., and Salomon Brothers, Inc.," Sessions 33 & 34, December 22, 1993.

70. Interview with Sam Butler, Frank Baron.

71. Interview with Frank Barron.

Chapter 50

1. Michael Lewis, "The Temptation of St. Warren," *New Republic,* February 17, 1992.

2. Ron Suskind, "Legend Revisited: Warren Buffett's Aura as Folksy Sage Masks Tough, Polished Man," *Wall Street Journal,* November 8, 1991.

3. Patricia Matson letter to Peter Kann, Norman Pearlstine, Paul Steiger, James Stewart, and Lawrence Ingrassia of the *Journal,* November 18, 1991, and attached chronology of events, in which Tom Murphy recalls explaining to Suskind before publication that he was misquoting and misportraying the conversation; Bill Gates letter to Warren Buffett, November 13, 1991, which says, "The quote is wrong. I never suggested anything of the kind to the reporter." Gates said he called the *Journal* before publication to ensure the incorrect quote would not be published and was "shocked" to see the quote in the article. Memo from Patty Matson, official spokesperson of CapCities/ABC, to "Those possibly interested," November 19, 1991, cc: Buffett, Murphy, Gates, Tisch, which says Steiger of the *Journal* called and acknowledged a "puzzlement" in which someone might have been "gilding the lily."

4. Bill Gates letter to Warren Buffett, November 13, 1991.

5. Interviews with Warren Buffett, Bill Gates. The latter may have heard a version from someone else, which got exaggerated in the retelling. On the other hand, Buffett had to use the facilities somehow.

6. Interview with Bill Gates.

7. For four generations the Gateses named their sons William Henry Gates. Bill Jr.'s father, William Henry III, changed his name to Bill Jr. and his son, the new Bill III—who was actually Bill IV—became known as Trey. Bill Jr. then stepped up to become Bill Sr. as the oldest living William Henry Gates, and his son is now known variously as Trey, Bill III, Bill, and *The* Bill Gates.

8. Interview with Arthur K. Langlie.

9. Interview with Bill Gates.

10. Noyce died June 3, 1990.

11. Interview with Roxanne Brandt.

12. Interview with Bill Gates.

13. Interview with Bill Ruane.

14. Interview with Don Graham.

15. Gates was right; Kodak *was* toast. From January 1990 to December 2007, Kodak stock rose a measly 20%, barely more than 1% a year. The S&P over the same period rose 315%. Berkshire Hathaway rose 1,627%. Microsoft rose 6,853%.

16. Interview with Bill Gates.

17. Ibid.

18. Statistics courtesy of Berkshire Hathaway.

19. Interview with Louis Blumkin.

20. A Scott Fetzer product.

21. Based on various comments from Kelly Broz, Roberta Buffett Bialek, Peter Buffett, Doris Buffett, Susan Clampitt, Jeannie Lipsey, Stan Lipsey, Ron Parks, Marilyn Weisberg, and Racquel Newman.

22. Interviews with Kathleen Cole, Susie Buffett Jr.

23. Interview with Kathleen Cole.

24. Interviews with Susie Buffett Jr., Howie Buffett. This took place at McMillan Junior High.

25. Which works out to $21,000 per year.

26. Interview with Howie Buffett.

27. Interview with Susie Buffett Jr.

28. Kurt Eichenwald, *The Informant*. New York: Broadway Books, 2000.

29. Interview with Susie Buffett Jr.

30. Interview with Bill Gates.

31. Interview with Sharon Osberg.

32. Each die has an advantage over one other and a disadvantage to the third.

33. When Buffett pulled out the dice with the author, he kept insisting that she had to go first. She had no idea what the numbers meant. She figured that if Buffett wanted her to go first, there must be some disadvantage to going first. (Experience as an insurance analyst was helpful here.) She said that the dice must somehow work like rock, paper, scissors, and refused to play. Buffett counted this as "figuring out" the dice, but it wasn't really.

34. The first week the author started working on this book, she came downstairs to the hotel lobby to find the same package.

35. Interviews with Sharon Osberg and Astrid Buffett, who recalls "Sharon was just beside herself."

36. Interview with Sharon Osberg.

37. Interviews with Astrid Buffett, Dick and Mary Holland.

38. Interview with Dody Waugh-Booth.

39. Carol J. Loomis, "My 51 Years (and Counting) at *Fortune*," *Fortune,* September 19, 2005.

40. Depending on how rich they had gotten and how long ago they had been sunburned. Bill Scott, whom

Buffett had made breathtakingly rich, had acquired a deep tan and had begun to resemble Buffett himself.

41. Carnegie built 2,509 libraries (costing $56 million) and established other public works using over 90% of his $480 million steel-made wealth.

42. Ruane's first wife, Elizabeth, suffered from a mood disorder and committed suicide in 1988.

43. Bill Ruane and others recalled this speech.

44. Paul Ehrlich, *The Population Bomb.* New York: Ballantine Books, 1968; Thomas Malthus, *An Essay on the Principles of Population. The Population Bomb* was based on the work of the nineteenth-century demographer and statistician Thomas Malthus, who said that humans procreate in a geometric rather than arithmetic progression; thus the earth's population would inevitably expand beyond the point at which its resources could support it. At some point, Malthus postulated, misery and vice (e.g., war, pandemic, famine, infant mortality, political unrest) would reduce the population to a sustainable level. Malthus's theory had enormous influence on many scientists, including Charles Darwin. Because Malthus failed to take into account a number of factors—for example, simplistically assuming that economic development stimulated population growth—his ideas were and continued to be ridiculed as predicted catastrophes failed to materialize within a decade or two after 1970. The basic concepts of Malthus and the idea of the Malthusian catastrophe are being taken more seriously in some quarters today, however.

45. Buffett, characteristically, uses both low and high numbers higher than the current population number (a margin of safety against looking like an alarmist) even though some experts argue that the "carrying capacity" has already been exceeded.

46. Organizations such as the International Humanist and Ethical Union and Planned Parenthood routinely took this position before 1974. See Paige Whaley Eager, *Global Population Policy: From Population Control to Reproductive Rights.* Burlington, Vt.: Ashgate Publishing Ltd., 2004.

47. This was the Belous case (*People v. Belous,* 71 Cal.2d 954, 458 P.2d 194, 80 Cal. Rptr. 354 [1969]), which declared laws against abortion unconstitutional in California. Munger helped write the opinion. Buffett says he has never seen Munger "so fired up," the most unconventional thing he has ever seen Munger do.

48. Buffett said Munger tempted him into running a church by offering him the job of sexton, until he found out the job description was not what he thought. "We held mock debates over who got to be the preacher."

49. Garrett Hardin, "The Tragedy of the Commons," *Science,* Vol. 162, No. 3859, December 13, 1968. Hardin's theory was essentially a restatement of the "prisoner's dilemma," which also addresses cooperation and "cheating" as covered in references on that subject. In the 1970s it was assumed that economic progress would accelerate population growth, that population growth would prevent economic growth. The earth's "carrying capacity" was assumed to be essentially fixed, rather than at least somewhat flexible through the use of technology and market forces, incorrect assumptions that caused such forecasts to peg the dates of critical population levels too early.

50. Garrett Hardin, "A Second Sermon on the Mount," from *Perspectives in Biology and Medicine,* 1963.

51. Nevertheless, some remnants of the eugenics movement remained alive, and by the millennial era, developments in genetic, genomic, and reproductive science had raised complicated questions about the idea.

52. The historic linkage between "population control," the eugenics movement, and racism is detailed by Allan Chase in *The Legacy of Malthus: The Social Costs of the New Scientific Racism* (New York: Alfred A. Knopf, 1977). While a full treatment of these issues is beyond the scope of this book, what seems clear, from his change in terminology, steering of the Buffett Foundation, and gradual distancing from the Hardin camp, was Buffett's disenchantment with the Malthusian views of Hardin because of their eugenics implications. (Hardin's personal stationery featured a small U.S. map around the words "Quality of the Population.")

53. In a highly controversial move, the Buffett Foundation had paid half the first-year costs to bring the RU-486 abortion pill to the United States.

54. From Eager's *Global Population Policy: From Population Control to Reproductive Rights,* which chronicles the gradual rejection of neo-Malthusianism and coercive population control methods in favor of voluntary, evolutionary changes in birth rates through economic development, reproductive rights, and an emphasis on women's health.

55. In "Foundation Grows: Buffetts Fund Efforts for Population Control" (*Omaha World-Herald,* January 10, 1988), Bob Dorr quotes Susie as saying, "Warren likes numbers…he likes to see concrete results, and you can see them [numbers] change" to explain her husband's interest in groups such as Planned Parenthood and the Population Institute.

56. A similar term, "Ovarian Roulette," was apparently first used by Dr. Reginald Lourie of Children's Hospital, Washington, D.C., at a hearing of the Committee on Government Operations, United States, "Effect of Population Growth on Natural Resources and the Environment," September 15-16, 1969, in a discussion with Garrett Hardin, to describe a mother who takes the risk of an unwanted pregnancy by not using birth control (and the term has since been used by Responsible Wealth). However, it is the second word—"lottery" versus "roulette"—that changes a bad choice to bad luck: from a child who is born unwanted to a woman who trusts to random chance, to a child who is born in cruel circumstances because of random chance.

57. "I Didn't Do It Alone," a report by Chuck Collins's organization, Responsible Wealth.

58. See John Rawls, *A Theory of Justice,* Cambridge: The Belknap Press of Harvard University Press, 1971. The Ovarian Lottery resembles Rawls's view, which is a form of determinism—and assumes that much, though not necessarily all, of what happens to people is *determined* by the present and past, for example, through their genes, or the luck of where they are born and when. The opposite of determinism is free will. From the days of the earliest philosophers, mankind has been debating whether free will exists. Philosophers also debate whether it exists on a scale or is irreconcilable with determinism. Critic Robert Nozick, in *Anarchy, State, and Utopia,* gives the case for irreconcilability in a critique of Rawls that more or less says that economist Adam Smith's invisible hand gives people what they have earned and deserved (*Anarchy, State and Utopia.* New York: Basic Books, 1974). All true libertarians believe in free will and deny absolutely that determinism exists. Since economic policy is so influenced by these ideas, the topic is worth understanding; for example, it sheds light on the debate over how Alan Greenspan's libertarian leanings influenced Federal Reserve policy that led to recent debt-fueled asset bubbles. Likewise, the debate over eugenics in genomism and reprogenetics resounds with issues of determinism and free will.

59. Interview with Bill Gates.

60. In 2005 Oxnam published *A Fractured Mind,* his memoir of living with multiple personality disorder (New York: Hyperion).

61. Interview with Bill Gates.

Chapter 51

1. Anthony Bianco, "The Warren Buffett You Don't Know," *BusinessWeek,* July 5, 1999.

2. Interview with Tony Nicely.

3. This was a 40% premium to where GEICO was trading.

4. In 1993, 707 new issues raised $41.4 billion. In 1994, 608 IPOs raised $28.5 billion, the second-most-productive year in the past quarter century. The third-best year for IPOs had been 1992, when 517 issues raised $24.1 billion. (Securities Data Co. of Newark, N.J.)

5. Molly Baker, Joan Rigdon, "Netscape's IPO Gets an Explosive Welcome," *Wall Street Journal,* August 9, 1995.

6. Interview with Sharon Osberg.

7. The Buffetts made other philanthropic gifts using Susie's stock, as well as funding the Buffett Foundation.

8. Carol Loomis, "The Inside Story of Warren Buffett," *Fortune,* April 11, 1988.

9. Berkshire Hathaway press release, February 13, 1996.

10. Interviews with Dana Neuman, Mark Millard.

11. The employees' pay could not really be fully aligned with shareholders. Unlike at the *Buffalo News,* for example, the employees' base pay at a bank is too low to compensate for the labor value of their time that is owed by the shareholders. In effect, much of the bonus is really salary. The reason that a plan that requires employees to work almost for free in a bad year to compensate for "excessive" bonuses in other years cannot succeed is that it transfers some of the risk assumed by capital onto the backs of labor. The bonus structure of Wall Street—without the glue of partnership—is inherently problematic.

12. To be considered an arbitrage, two trades must take place simultaneously to eliminate market risk. Buying a stock and selling it later is not an arbitrage. Buying cocoa beans in Ecuador and selling them in San Diego is not an arbitrage.

13. Interview with Deryck Maughan.

14. Roger Lowenstein, *When Genius Failed: The Rise and Fall of Long-Term Capital Management.* New York: Random House, 2000.

15. In July 1998, Weill shut down Salomon's bond arbitrage unit. One could argue that it was Travelers' subsequent merger with Citicorp—which provided cheap capital—that made the firm a serious competitor in those businesses. Looked at another way, Travelers paid a high price to enter a business with high barriers to entry, and subsequently exploited its capital and scale advantage. Citigroup dropped the Salomon name in 2001.

16. Carol Loomis, "A House Built on Sand," *Fortune,* October 26, 1998.

17. Interview with Charlie Munger.

18. Lowenstein, in *When Genius Failed,* estimated that these returns were achieved through leverage; Long-Term's cash-on-cash return was only about 1%. This low return, multiplied fifty to a hundred times through borrowing, appeared extraordinarily profitable.

19. In *When Genius Failed,* Lowenstein drew this conclusion after extensive interviews with Meriwether's former team.

20. Roger Lowenstein, *When Genius Failed.* Shorting it as a collection of stocks would not work because of a basis mismatch between Berkshire and the offsetting hedgeable positions. Berkshire was a collection of wholly owned businesses fueled by an insurance company that also owned some stocks, not a quasi-mutual fund.

21. Roger Lowenstein, *When Genius Failed.*

22. Stock or merger arbitrage is a bet on whether a merger will close. Merger-arb specialists talk to lawyers and investment bankers and specialize in scuttlebutt. Their bets are based partly on knowledge about a deal,

not just statistics about how typical deals have done.

23. Interview with Eric Rosenfeld; Lowenstein, *When Genius Failed.*

24. Michael Siconolfi, Anita Raghavan, and Mitchell Pacelle, "All Bets Are Off: How Salesmanship and Brainpower Failed at Long-Term Capital," *Wall Street Journal,* November 16, 1998.

25. Interview with Eric Rosenfeld.

26. The Standard & Poor's index was down 19% since July and the NASDAQ down by more than 25%.

27. John Meriwether letter to investors, September 2, 1998.

28. Warren Buffett letter to Ron Ferguson, September 2, 1998.

29. Hence, don't try to make it back the way you lost it.

30. Interview with Joe Brandon.

31. Craig Torres and Katherine Burton, "Fed Battled 'Financial Maelstrom,' 1998 Records Show," *Bloomberg News,* April 22, 2004.

32. Roger Lowenstein, in *When Genius Failed,* includes, as do other accounts, an interesting sidebar about the role of Goldman Sachs, which, as capital-raiser for the firm, also sent in a mysterious "trader" who spent days downloading Long-Term's positions into a laptop and making mysterious cell-phone calls. Afterward, Long-Term's partners bitterly blamed their demise on predatory behavior by competitors.

33. According to one partner, the lawyer was dubious about the rushed process, saying maybe there was some trickery involved, and wanting to slow things down and take more time to look over the details.

34. Roger Lowenstein, *When Genius Failed.*

35. Michael Lewis, "How the Eggheads Cracked," *New York Times Magazine,* January 24, 1999.

36. Interview with Fred Gitelman, Sharon Osberg.

37. After three 0.25% interest-rate cuts—September 29, October 15, and October 17—the market leapt 24% from its low on August 31 of 7,539 to an all-time high of 9,374 on October 23.

38. Michael Lewis, "How the Eggheads Cracked."

39. Roger Lowenstein, *When Genius Failed.*

40. Interview with Eric Rosenfeld.

41. The Federal Reserve's instant and dramatic cut of interest rates gave rise to a concept called the "Greenspan Put," the idea that the Federal Reserve would swamp the market with liquidity to bail out investors in a crisis. The Greenspan Put theoretically encourages people to worry less about risk. Greenspan denied there was a Greenspan Put. "It takes a good deal longer for the cycle to expand than for it to contract," he said. "Therefore we are innocent." (Reuters, October 1, 2007, quoting Greenspan speaking in London.)

Chapter 52

1. Kurt Eichenwald, *The Informant.* New York: Broadway, 2000. Unbeknownst to Howie, Andreas reportedly made an illegal donation in response to at least one request that Howie had passed along,

shrugging off the fine as the cost of doing business.

2. Interview with Howie Buffett.

3. Ibid.; Scott Kilman, Thomas M. Burton, and Richard Gibson, "Seeds of Doubt: An Executive Becomes Informant for the FBI, Stunning Giant ADM—Price Fixing in Agribusiness Is Focus of Major Probe; Other Firms Subpoenaed—A Microphone in the Briefcase," *Wall Street Journal,* July 11, 1995; Sharon Walsh, "Tapes Aid U.S. in Archer Daniels Midland Probe; Recordings Made by Executive Acting as FBI Informant Lead to Seizure of Company Files," *Washington Post,* July 11, 1995; Ronald Henkoff and Richard Behar, "Andreas's Mole Problem Is Becoming a Mountain," *Fortune,* August 21, 1995; Mark Whitacre, "My Life as a Corporate Mole for the FBI," *Fortune,* September 4, 1995.

4. Interview with Kathleen Cole.

5. Astrid was going to be well taken care of by Warren, too, although, as he says about the apparent willingness of his fans to buy any article belonging to him—his wallet, his car; *"She's got one of my wisdom teeth. It's the ugliest thing you've ever seen. That's her ace in the hole."*

6. Interview with Bill Gates.

7. Every board member interviewed reached some variation of this conclusion, no matter where they stood on later events.

8. Mark Pendergast, *For God, Country, and Coca-Cola.* New York: Charles Scribner's Sons, 1993.

9. Speaking at the 1998 Berkshire Hathaway shareholder meeting.

10. At the time, NetJets marketed itself both as NetJets and by its legal name, Executive Jet, Inc. It was renamed NetJets in 2002.

11. Interviews with sources; Anthony Bianco, "The Warren Buffett You Don't Know," *BusinessWeek,* July 5, 1999.

12. The business requires a "core fleet" of redundant aircraft, so expensive that running a fractional jet company is by definition unprofitable unless done on a huge scale (or used as a loss-leader by an aircraft manufacturer or other company with a tie-in product).

13. It cost Berkshire over nine times what it paid for the remaining half of GEICO almost three years earlier. The GEICO purchase doubled Berkshire's existing float (to $7.6 billion), while Gen Re tripled that (to $22.7 billion).

14. Interview with Tad Montross.

15. BRK paid approximately three times book value, a premium to prevailing prices at the time. The reinsurance business became more competitive after this acquisition, and multiples have since declined.

16. Berkshire Hathaway 1997 annual shareholders' meeting, May 5, 1997.

17. Shawn Tully, "Stock May Be Surging Toward an Earnings Chasm," *Fortune,* February 1, 1999.

18. At the companies' June 19, 1998, press conference, as quoted in "Is There a Bear on Mr. Buffett's Farm?" *New York Times,* August 9, 1998.

19. Buffett's comments in Anthony Bianco's July 5, 1999, *BusinessWeek* cover story, "The Warren Buffett You Don't Know": "'Charlie and I don't talk a lot anymore,' acknowledges Buffett, who says he did not even bother to consult his vice-chairman before making the epochal Gen Re acquisition."

20. BRK dropped 4.2% on news of the deal. Over a month later, it was down 15% versus a flat market. Setting an exchange ratio implicitly required a view on equities and interest rates, as well as the underlying businesses' prospects. What investors could not know was the relative weighting of these factors.

21. James P. Miller, in "Buffett Again Declines to Flinch at Market's High-Wire Act," *Wall Street Journal,* May 5, 1998, got it. He attended the shareholder meeting at which Buffett reiterated his views and commented that maintaining return on equity was a particularly vexing issue. On the other hand, Justin Martin and Amy Kover, in "How Scary is this Market, Really?"(*Fortune,* April 27, 1998), wrote that "no less an authority than Warren Buffett" had endorsed the market bulls through his "not overvalued" statement.

22. On August 22, 1997, Wells Fargo stock nosedived after Berkshire Hathaway reclassified it from the publicly filed form 13-F to the confidential disclosure to the SEC, creating the appearance that Buffett had sold his position in Wells Fargo. The SEC announced that it would consider tightening the confidentiality rules. In June 1998, the SEC announced it was tightening its "13F" rule that had allowed Buffett to file confidentially for a year while building large stock positions. Although the SEC did not absolutely rule out confidential filings, Buffett heard the footsteps. Berkshire Hathaway fought an aggressive battle with the SEC over this issue as its confidential filings were denied, and lost. In 1999, Berkshire filed confidentiality requests each quarter along with its regular 13-F forms containing positions that were not confidential. The SEC made a single announcement relating to these three filings that certain of the positions they contained must be publicly disclosed. Buffett's right to make a profit presumably was not part of the SEC's deliberations. The SEC's interest is to protect investors. While the SEC staff had long held that it is desirable to prevent extraordinary fluctuations in stock prices unrelated to fundamental factors so that investors do not profit or suffer as a result, investors' right to know the identity of a company's largest shareholders outweighed that.

23. Interview with Herbert Allen.

24. Nikhil Deogun, James R. Hagerty, Steve Secklow, and Laura Johannes, "Coke Stains, Anatomy of a Recall: How Coke's Controls Fizzled Out in Europe," *Wall Street Journal,* June 29, 1999.

25. Interview with Herbert Allen.

26. Ibid.

27. Through Project Infinity, partly cloaked in Y2K spending, Coca-Cola turned the soft-drink business into a technology-fed numbers game. In 1999, the company hired 150 experts for worldwide implementation of SAP's programs. SAP, an acronym for Systems, Applications, and Products in Data Processing, provided business software solutions for process redesign in supply-chain management, customer-relationship management, and resource planning.

28. Ivester did not respond to repeated requests for interviews.

29. Betsy Morris and Patricia Sellers, "What Really Happened at Coke," *Fortune,* January 10, 2000.

30. Interview with Sharon Osberg.

31. Betsy Morris, "Doug Is It," *Fortune,* May 25, 1998, and Patricia Sellers, "Crunch Time for Coke," *Fortune,* July 19, 1999.

32. This is Herbert Allen's version of the conversation. Buffett doesn't recall the exact details.

33. "They never sat down, never even removed their overcoats. In tones frostier than the air outside, they told him they had lost confidence in him." Constance L. Hays, *The Real Thing: Truth and Power at the Coca-Cola Company.* New York: Random House, 2004. Buffett and Allen dispute this version and say they sat down and removed their coats. But, they say, it was indeed a very short meeting, with no chitchat.

34. Had the board supported him, it would have left Ivester a weakened CEO. He would also have been gambling that Allen and Buffett would not resign from the board, an instantly fatal blow. Allen and Buffett were also gambling that if Ivester threw himself on the board's mercy and survived, it would not be for long.

35. Interview with James Robinson, former CEO of American Express and Coca-Cola board member.

36. KO stock dropped 14% in two days.

37. Betsy Morris and Patricia Sellers, "What Really Happened at Coke."

38. Martin Sosnoff, "Buffett: What Went Wrong?" *Forbes,* December 31, 1999.

39. Andrew Barry, "What's Wrong, Warren?" *Barron's,* December 27, 1999.

40. Andy Serwer, "The Oracle of Everything," *Fortune,* November 11, 2002.

41. Interview with Kathleen Cole.

42. Interview with Susie Buffett Jr.

43. Interview with Peter Buffett.

44. Interview with Howie Buffett.

45. Interviews with Howie Buffett, Peter Buffett, Susie Buffett Jr.

Chapter 54

1. Joe Lauria, "Buffett Bombs as High-Tech Funds Boom," *Sunday Times* (London), January 2, 2000.

2. The expected profit on the deal was 90%; i.e., the premium covered odds that the lottery would hit 1 out of 10 times whereas in fact it was expected to hit less than 1 out of 100 times.

3. Every 10% change in KO was equivalent to 2.5% of BRK (a percentage that is representative over time), but the stocks often traded almost in tandem—especially when there was bad news at Coca-Cola—as if BRK and KO were one and the same.

4. Beth Kwon, "Buffett Health Scrape Illustrates Power—or Myth—of Message Boards," TheStreet.com, February 11, 2000. The story made the *Financial Times* say, "Warren Buffett may not be sick, but his share price is," in the "Lex" column, February 12, 2000. *Financial Times* described the rap on Buffett not buying tech stocks as a "serious charge."

5. Berkshire Hathaway press release; also see "Berkshire Hathaway Denies Buffett Is Seriously Ill," *New York Times,* February 11, 2000. The way that Buffett uses probabilities to describe things is one of his intriguing qualities; what if he had said that the rumors were 90% false?

6. Ed Anderson, "Thesis vs. Antithesis: Hegel, Bagels, and Market Theories," *Computer Reseller News,* March 13, 2000.

7. Warren Buffett and Charlie Munger, "We Don't Get Paid for *Activity,* Just for Being *Right*. As to How *Long* We'll Wait, We'll Wait *Indefinitely,*" *Outstanding Investor Digest,* Vol. XIII, Nos. 3 & 4, September 24, 1998, and "We Should All Have Lower Expectations—In Fact, Make That *Dramatically* Lower….," *Outstanding Investor Digest,* Vol. XIV, Nos. 2 & 3, December 10, 1999.

8. "Focus: Warren Buffett," *Guardian,* March 15, 2000 (emphasis added).

9. Some commentators understood that the bubble was bursting but since the averages continued to move higher, the general perception was slower to change. Federal Reserve Chairman Alan Greenspan's comments were seized on as reason for concern or relief, depending on the listener's perspective. See Matt Kranz and James Kim, "Bear Stages Sneak Attack on Net Stocks," *USA Today,* February 16, 2000; Greg Ip, "Stalking a Bear Market," *Wall Street Journal,* February 28, 2000; "Technology Stocks Continue to Dominate," *USA Today,* March 2, 2000.

10. E. S. Browning and Aaron Lucchetti, "The New Chips: Conservative Investors Finally Are Saying: Maybe Tech Isn't a Fad," *Wall Street Journal,* March 10, 2000. The *Journal* cited another investor as saying, "It's like when the railroads started up and were changing the whole face of the nation." Yes, it was much like that. Speculation in railroad stocks led directly to the financial panics of 1869, 1873, and 1901. The Erie railroad and Northern Pacific stock corners were only two episodes in the long history of colorful financial chicanery surrounding railroad stocks.

11. Gretchen Morgenson, "If You Think Last Week Was Wild," *New York Times,* March 19, 2000. Another sign that the game was up: On March 20, *Fortune* ran a cover story by Jeremy Garcia and Feliciano Kahn, "Presto Chango: Sales Are HUGE!" accusing many dotcoms of using accounting legerdemain to inflate sales—counting marketing expenses as sales, treating barter revenues as sales, and booking revenues before contracts were signed.

12. Interview with Sue James Stewart.

13. Buffett, who usually dealt with uncomfortable issues by joking about them, ended the 1999 Berkshire annual report (written winter 2000) by saying that he loved running Berkshire, and *"if enjoying life promotes longevity, Methuselah's record is in jeopardy."*

14. This is sort of an inside joke at Berkshire Hathaway.

15. David Henry, "Buffett Still Wary of Tech Stocks—Berkshire Hathaway Chief Happy to Skip 'Manias,'" *USA Today,* May 1, 2000.

16. Buffett owned 14 million barrels of oil at the end of 1997, bought 111 million ounces of silver, and owned $4.6 billion of zero-coupon bonds as well as U.S. Treasuries. The silver represented 20% of the world's annual mine output and 30% of the above-ground vault inventory (Andrew Kilpatrick, *Of Permanent Value: The Story of Warren Buffett: More in '04, California Edition.* Alabama: AKPE, 2004), purchased on terms to avoid disrupting world supply.

17. Interview with Sharon Osberg. The silver was at JP Morgan in London.

18. Buffett measures his performance not by the company's stock price, which he didn't control, but by increase in net worth per share, which he did. There is a link between these two measures over long periods of time. In 1999, book value per share had grown only $^{1}/_{2}$ of 1%. But for the acquisition of General Re, book value per share would have shrunk. Meanwhile, the stock market as a whole was up 21%. Buffett called it a fluke that book value had increased at all, pointing out that in some years it will inevitably decrease. Yet only 4 times in 35 years under Buffett, and not once since 1980, had Berkshire done worse than the market by this measure.

19. James P. Miller, "Buffett Scoffs at Tech Sector's High Valuation," *Wall Street Journal,* May 1, 2000.

20. David Henry, "Buffett Still Wary of Tech Stocks."

21. The Knight-Bagehot Fellows.

22. Interviews with Joseph Brandon, Tad Montross.

23. Interviews with Bill Gates, Sharon Osberg.

24. Amy Kover, "Warren Buffett: Revivalist," *Fortune,* May 29, 2000.

25. Interview with Bill Gates.

26. Berkshire Hathaway press release, June 21, 2000.

Chapter 55

1. Philip J. Kaplan, *F'd Companies: Spectacular Dot-com Flameouts.* New York: Simon & Schuster, 2002.

2. Purchase price not disclosed for these two acquisitions—but both were paid half in cash, half in BRK stock.

3. For $570 million.

4. For $2 billion; it became Berkshire's largest business outside the insurance operations (2000 BRK annual report).

5. For $1 billion.

6. For $1.8 billion cash and $300 million in assumed debt.

7. For $378 million.

8. At the end of 2000, Berkshire had spent more than $8 billion buying companies and still had $5.2 billion in cash and cash equivalents, along with $33 billion in fixed maturity securities and $38 billion in stocks.

9. Berkshire Hathaway letter to shareholders, 2000.

10. Kilts joined Gillette after successfully turning around Nabisco, as only the second outsider in 100 years to run the company.

11. Interview with Susie Buffett Jr.

12. Interviews with Barry Diller, Don Graham, Susie Buffett Jr.

13. "Disney Scrambling to Play Spoiler Role," *New York Post,* July 14, 2001.

14. Marcia Vickers, Geoffrey Smith, Peter Coy, Mara Der Hovanseian, "When Wealth Is Blown Away," *BusinessWeek,* March 26, 2001; Allan Sloan, "The Downside of Momentum," *Newsweek,* March 19, 2001.

15. As of June 2001. From the *Industry Standard*'s Layoff Tracker, along with the Dot-Com Flop Tracker and the Ex-Exec Tracker.

16. Buffett was not the only one concerned about the implication of this relationship. John Bogle, retired chairman of Vanguard, wrote of it in April 2001. However, he concluded that "some version of reality" had returned to the stock market. What made Buffett's speech noteworthy was not use of this particular metric but rather his pessimistic projection of what it meant.

17. One of Buffett's main points was that companies—many of which had been taking gains from surpluses out of their pension plans—were irresponsibly using unrealistic rates of return assumptions and would have to adjust these to reality, which would show the plans to be less well funded or even underfunded.

18. Herbert Stein was an American Enterprise Institute fellow and former chairman of the Council of

Economic Advisors under Richard Nixon, a member of the board of contributors of the *Wall Street Journal,* and an economics professor at University of Virginia. He is known for the quote "If something cannot go on forever, it will stop," and was father to financial writer and actor Ben Stein.

19. As quoted in "Buffett Warns Sun Valley Against Internet Stocks," *Bloomberg,* July 13, 2001.

20. Vicente Fox worked for Coca-Cola for fifteen years, starting as a route supervisor in 1964, then being promoted ten years later to president of its Mexican, and ultimately its Latin American, operations.

21. Interview with Midge Patzer.

22. Interview with Don Graham.

23. Dr. Griffith R. Harsh, IV, Director, Surgical Neuro-Oncology Program at Stanford University Medical School.

24. Interview with Kathleen Cole.

25. Interviews with Bill Gates, Peter Buffett, Howie Buffett.

26. Interview with Susie Buffett Jr.

27. Interviews with Susie Buffett Jr., Don Graham.

28. Karlyn Barker, "Capacity Crowd Expected at Funeral; Schlesinger, Bradlee, Kissinger, Relatives Among Eulogists," *Washington Post,* July 22, 2001.

29. Paul Farhi, "Close Enough to See: TV Coverage Captures Small, Telling Moments," *Washington Post,* July 24, 2001; Steve Twomey, "A Celebrated Life: Thousands Honor Katharine Graham at the Cathedral," *Washington Post,* July 24, 2001; Mary Leonard, "Thousands Pay Tribute to *Washington Post*'s Katharine Graham," *Boston Globe,* July 24, 2001.

30. Karlyn Barker, "Capacity Crowd Expected at Funeral; Schlesinger, Bradlee, Kissinger, Relatives Among Eulogists."

31. Libby Copeland, "Kay Graham's Last Party: At Her Georgetown Home, A Diverse Group Gathers," *Washington Post,* July 24, 2001.

32. The family sold the house shortly after Graham's death.

Chapter 56

1. Interview with Herbert Allen.

2. "The Hut-Sut Song" by Horace Heidt. Words and music by Leo V. Killion, Ted McMichael, and Jack Owens.

3. The event benefited the Boys & Girls Clubs of Omaha, Omaha Children's Museum, Girls Inc., and the Omaha Theater Company for Young People. Over ten years it raised approximately $10 million.

4. Hamlisch was the first person to win three Academy Awards at once, in all three music categories, for the song "The Way We Were"(with co-writers Alan Bergman and Marilyn Bergman), the score to the movie *The Way We Were* (1973), and the adaptation of Scott Joplin's ragtime music for *The Sting* (1973).

5. Interview with Devon Spurgeon.

6. Buffett does not recall the specifics of this call but thinks it probably occurred. The source is Joe Brandon at General Re.

7. Grace Shim, "Warren Buffett, Others Speak About Terrorism at Omaha, Neb., Event," *Omaha World-Herald,* September 12, 2001.

8. Buffett recalled this, and said, *"I think somebody even may have bought a car just because they ran out of rental cars."*

9. According to "Killtown's: Where Was Warren Buffett on 9/11?" (www.killtown.911review.org/buffett.html), referencing rushlimbaugh.com from July 5, 2005.

10. Interview with Bob Nardelli.

11. Interview with Tony Pesavento.

12. Buffett told the author this in 2001, shortly after the terrorist attack.

13. The term "unforeseeable" as an explanation for large losses was virtually universal after 9/11 in the insurance industry.

14. Grace Shim, "Warren Buffett, Others Speak About Terrorism at Omaha, Neb., Event."

15. Interview with Susie Buffett Jr.

16. This initial estimate was revised to $2.4 billion in the December 31 annual report.

17. Charles R. Morris, *The Trillion Dollar Meltdown.* New York: Public Affairs, 2008.

18. Leading to reforms such as not allowing analysts to be compensated based on investment-banking work, and setting up "firewalls" between analysts and investment bankers.

19. For $835 million.

20. For just under $1 billion. Kern moved 850 million cubic feet of gas a day from the Rocky Mountains to Las Vegas and California.

21. This pipeline moved 4.3 billion cubic feet of gas per day. Berkshire bought it for $928 million, after Dynegy had gotten it for $1.5 billion when Enron went bankrupt and NNG was being held as collateral (both had assumed $950 million of NNG's debt). After MidAmerican's two pipeline deals in 2002, it transported 8% of the gas in the U.S.

22. Berkshire joined with Lehman and Citigroup to lend $2 billion to Williams at a 20% interest rate.

23. Pre-9/11, Munich Re and AXA struck a derivatives deal valued at $50 million with Berkshire Hathaway Group to reinsure against an earthquake canceling 2002's FIFA World Cup in South Korea and Japan. BRK would pay regardless of the actual cost of the loss, if the tournament was postponed or canceled because of an earthquake of a certain magnitude. Separately, after 9/11, AXA pulled out of insuring the tournament, and on October 30 National Indemnity stepped in to insure it, allowing the World Cup to proceed.

24. Berkshire Hathaway letter to shareholders, 2007.

25. Interview with Frank Rooney.

26. Gifts of more than $12,000 are subject to this tax.

27. Source: IRS, Statistics of Income Division, March 2007; Joint Committee on Taxation, *Description and Analysis of Present Law and Proposals Relating to Federal Estate and Gift Taxation,* Public Hearing Before the Subcommittee on Taxation and IRS Oversight of the Senate Committee on Finance, March 15, 2001.

28. In 2007, over 8% of the federal budget, or $244 billion, was interest on federal debt. That is almost exactly ten times the amount collected through the estate tax.

29. "I Didn't Do It Alone," a report by Responsible Wealth, describes the role of public investment, family, colleagues, luck, and grace in creating wealth. Organizations like United for a Fair Economy publish research on tax fairness, as do organizations such as the libertarian Cato Institute.

30. "Defending the Estate Tax," *New York Times,* February 16, 2001. In this article, Mr. Bush's own director of Faith-Based and Community Initiatives, John DiIulio, told the *Times* that charitable contributions would likely decrease if the estate tax were repealed. "I don't want to be the skunk at the picnic," he said. "But no, I don't think the estate tax should be eliminated—modified, maybe, but not eliminated."

31. See, for example, Melik Kaylan, "In Warren Buffett's America…" *Wall Street Journal,* March 6, 2001; John Conlin, "Only Individual Freedom Can Transform the World," *Wall Street Journal,* July 26, 2001; Steve Hornig, "The Super-Wealthy Typically Do Not Pay Estate Taxes," *Financial Times,* June 15, 2006; Holman W. Jenkins Jr., "Let's Have More Heirs and Heiresses," *Wall Street Journal,* February 21, 2001.

32. Warren Buffett letter to Senator Ken Salazar, June 8, 2001.

33. William S. Broeksmit, "Begging to Differ with the Billionaire," *Washington Post,* May 24, 2003.

34. Daft had options to buy 650,000 shares, initially estimated as worth $38.1 million to $112.3 million in 2015, depending on how much the stock appreciated. He also got $87.3 million in restricted stock awards, totaling 1.5 million shares. Henry Unger, "If Coca-Cola Chief Daft Fizzles, He'll Lose Millions," *Atlanta Journal-Constitution,* March 3, 2001.

35. The CEO–worker pay gap of 411-to-1 in 2001 was nearly ten times as high as the 1982 ratio of 42-to-1. "If the average annual pay for production workers had grown at the same rate since 1990 as it has for CEOs, their 2001 average annual earnings would have been $101,156 instead of $25,467. If the minimum wage, which stood at $3.80 an hour in 1990, had grown at the same rate as CEO pay, it would have been $21.41 an hour in 2001, rather than the current $5.15 an hour." Scott Klinger, Chris Hartman, Sarah Anderson, and John Cavanagh, "Executive Excess 2002, CEOs Cook the Books, Skewer the Rest of Us, Ninth Annual CEO Compensation Survey." Institute for Policy Studies, United for a Fair Economy, August 26, 2002.

36. Geoffrey Colvin, "The Great CEO Pay Heist," *Fortune,* June 25, 2001. A 2001 option grant later became the subject of controversy in the 2007 stock-option backdating scandal.

37. Warren Buffett, "Stock Options and Common Sense," *Washington Post,* April 9, 2002.

38. Two other companies, Winn-Dixie and Boeing, had earlier started treating stock options as an expense. But they had nothing like Coca-Cola's clout.

39. Warren Buffett, "Who Really Cooks the Books?" *New York Times,* July 24, 2002.

40. Warren Buffett, Securities and Exchange Commission's Roundtable on Financial Disclosure and Auditor Oversight, New York, March 4, 2002.

41. Berkshire Hathaway letter to shareholders, 2002.

42. David Perry, "Buffett Rests Easy With Latest Investment," *Furniture Today,* May 6, 2002.

43. He didn't really want her to come back either, although he looked tempted a few times.

Chapter 57

1. This portrait of Susie in the late 1990s and early millennial era is based on comments from more than two dozen sources who knew her well but cannot be identified by name.

2. Interview with Susan Thompson Buffett.

3. Interview with Howie Buffett.

4. Interest rates, which had been falling since 9/11, hit a low of 1% in June 2003 and remained there until June 2004.

5. This is a shorthand description for investors' limited risk aversion during this period.

6. In "Mortgage Market Needs $1 Trillion, FBR Estimates," Alistair Barr (*MarketWatch,* March 7, 2008) recaps a Friedman, Billings Ramsey research report that estimates that of the total $11 trillion U.S. mortgage market, only $587 billion was backed with equity—meaning that the average U.S. home had scarcely more than 5% equity. Before long, half of all CDOs would be backed by subprime mortgages (David Evans, "Subprime Infects $300 Billion of Money Market Funds," Bloomberg, August 20, 2007).

7. In *The Trillion Dollar Meltdown* (New York: Public Affairs, 2008), Charles Morris explains that because the typical credit hedge fund was leveraged 5:1, the 5% equity was reduced to 1%—a 100:1 leverage ratio, or $1 of capital supporting $100 of debt.

8. He used derivatives himself, but as a borrower, not a lender. Therefore, if things went wrong, he did not have to collect from anyone else.

9. Part of Berkshire Re's reported profits since 2002 are derived from General Re.

10. Alan Greenspan gave a speech on May 8 at the 2003 Conference on Bank Structure and Competition where he voiced his opinion on derivatives. Ari Weinberg, "The Great Derivatives Smackdown," *Forbes,* May 9, 2003.

11. For example, he was called "The Alarmist of Omaha" by Rana Foroohar in *Newsweek* on May 12, 2003.

12. Buffett lent $215 million to Oakwood in debtor-in-possession financing. Through Berkadia (see note 13), he bid $960 million for Conseco Finance. Berkadia representatives left before the auction was over, and were outbid by a consortium that offered $1.01 billion. Berkadia objected to these proceedings and raised its offer to $1.15 billion after it was over, but this effort was rejected by the bankruptcy court judge. The credit bubble for manufactured housing and subprime lenders like Conseco deflated by 2004, more than a year before the broader housing bubble peaked.

13. This deal resembled in some ways another deal he had done two years earlier, partnering with Leucadia National to form Berkadia LLC, which provided a $6 billion secured five-year loan to the bankrupt FINOVA so it could pay down its debt.

14. In *First a Dream,* Jim Clayton recounts that Michael Daniels, an intern who had "tolerated" him through the six-month final edit of the book, got him to autograph a copy to give to Buffett. When he graduated and went to work for UBS, Daniels handed the book over to the next intern, Richard Wright, for delivery. "The Ballad of Clayton Homes" (*Fast Company,* January 2004) claims that the Claytons used Wright to send a message to Buffett.

15. In his memoir, Jim Clayton says people find it hard to believe that he did not return Buffett's call himself. He says it never occurred to him to do so, and he and Buffett have never called each other about business. During the months that the deal was in negotiation and litigation, the author observed that Buffett dealt only

with Kevin Clayton.

16. Interview with Kevin Clayton.

17. Jim Clayton, Bill Retherford, *First a Dream.* (Tennessee: FSB Press, 2002.) The 2004 revised edition gives an account of Berkshire Hathaway's fight for Clayton Homes.

18. Buffett had spent only $50 million in April to purchase PetroChina stock, but that brought Berkshire's ownership to $488 million and over the limit that required disclosure to the Hong Kong Stock Exchange.

19. Buffett said he would buy foreign stocks under the right circumstances; e.g., in the United Kingdom or a newspaper in Hong Kong. However, he did not spend time seriously studying foreign stocks until opportunities in the U.S. began to thin.

20. Warren Buffett, "Why I'm Down on the Dollar," *Fortune,* November 10, 2003.

21. From unpublished coverage of the 2003 Berkshire Hathaway annual meeting, courtesy of *Outstanding Investor Digest*.

22. A major advantage of the deal was Berkshire's access to and low cost of funds. With its AAA credit rating, it could borrow at a far lower rate than any other manufactured-home maker and thus not only survive credit droughts but make money under conditions where Clayton's competitors could not survive.

23. Speaking at the New York Public Library, June 25, 2006.

24. Andrew Ross Sorkin, "Buffett May Face a Competing Bid for Clayton Homes," *New York Times,* July 11, 2003.

25. "Suit Over Sale of Clayton Homes to Buffett," *New York Times,* June 10, 2003. Gray alleged that previous shareholder meetings electing directors had taken place without proper notice. In June the Delaware Chancery Court ruled that Clayton had technically not met the notice requirement, but since the meeting was so well attended by shareholders, the mistake was only technical and results of the meeting would not be overturned.

26. Jennifer Reingold, "The Ballad of Clayton Homes."

27. At its peak before the death of Susan T. Buffett, the foundation spent $15–$30 million per year in total, mostly on reproductive rights.

28. If Buffett had paid dividends and used them for the donations, the whole point would have been moot.

29. Douglas R. Scott Jr., president, Life Decisions International, letter to Warren Buffett, September 26, 2002.

30. The number came from Cindy Coughlon, a Pampered Chef consultant who organized the boycott. Nicholas Varchaver, "Berkshire Gives Up On Giving: How a Pro-Life Housewife Took On Warren Buffett," *Fortune,* August 11, 2003.

31. Compiled from various interviews.

32. Pro-life activists, according to the U.S. National Abortion Federation, have committed 7 murders, attempted 17 other murders, made 388 death threats, kidnapped 4 people, committed 41 bombings, 174 instances of arson, and 128 burglaries, attempted 94 bombings or arsons, made 623 bomb threats, committed 1,306 instances of vandalism, made 656 bioterror threats, and committed 162 instances of assault and battery. These numbers exclude stalking, hoax device/ suspect packages, hate mail, harassing phone calls, trespassing, invasion, Internet harassment, and other less serious incidents. The pro-life movement's activities

have resulted in 37,715 arrests as of 2007. Most mainstream pro-life organizations reject the terrorist wing of the movement, some vocally.

33. Berkshire Hathaway press release, July 15, 2003.

34. Under Delaware law, only shareholders in attendance were eligible to vote on a recess.

35. Jim Clayton, Bill Retherford, *First a Dream.*

36. Interviews with Kevin Clayton and John Kalec, executive vice president and CFO of Clayton Homes.

37. The suit, filed on July 25 by Milberg Weiss Bershad Hynes & Lerach, LLP, initially claimed that Kevin Clayton had asked Janus Capital to continue to support the deal even though it had sold the stock. In court, no evidence of this was found and the case was dismissed.

38. Jennifer Reingold, "The Ballad of Clayton Homes."

39. Jim Clayton cites these figures in *First a Dream,* indicating he could not confirm them.

40. Cerberus memorandum, "For Discussion Purposes," reprinted in Jim Clayton, *First a Dream.*

41. In a few instances, such as NetJets, private-company owners sold to him at lower prices than they could have obtained elsewhere because they wanted Berkshire as an owner.

42. Jim Clayton, Bill Retherford, *First a Dream.*

43. Interview with Kevin Clayton.

44. By 2006, manufactured-home shipments had fallen to 117,510 units and were still declining at an average rate of 32% in 2007 despite a temporary bump in 2005 from Hurricane Katrina. (Source: Manufactured Housing Institute.)

Chapter 58

1. Interview with the Reverend Cecil Williams. Buffett participated in two live auctions for Glide before the first eBay auction.

2. Interview with Kathleen Cole.

3. Interviews with Kathleen Cole, Susie Buffett Jr.

4. Interview with Howie Buffett.

5. Interviews with Howie Buffett, Susie Buffett Jr.

6. Interview with Kathleen Cole.

7. Ibid.

8. www.oralcancerfoundation.org.

9. Oral Cancer Foundation.

10. Interviews with Kathleen Cole, Ron Parks.

11. Interviews with Marshall Weinberg, Walter and Ruth Scott, Lou Simpson, George Gillespie.

12. Interview with Susie Buffett Jr.

13. Adapted from John Dunn, "Georgia Tech Students Quiz Warren Buffett," *Georgia Tech,* Winter 2003.

14. Bob Woodward, "Hands Off, Mind On," *Washington Post,* July 23, 2001.

Chapter 59

1. Interview with Susie Buffett Jr.

2. Interview with Stan Lipsey; Jonathan D. Epstein, "GEICO Begins Hiring in Buffalo," *Buffalo News,* February 11, 2004.

3. Interviews with Peter Buffett, Howie Buffett, Susie Buffett Jr.

4. Peter and Susie also gave substantial amounts to the Buffett Foundation in their first two years.

5. Generally speaking, federal law governing foundations requires that foundations distribute or use a minimum amount of their assets regularly for their charitable purposes (approximately 5% of the fair market value of the private foundation's investment assets).

6. At the time, Susie had about 35,000 shares in her own name, worth about $2.8 billion, apart from what she might receive as part of Warren's estate should he predecease her.

7. Charles T. Munger, edited by Peter Kaufmann, *Poor Charlie's Almanack: The Wit and Wisdom of Charles T. Munger*. New York: Donning Company Publishers, 2005.

Chapter 60

1. Interview with Kathleen Cole.

2. Interviews with Jamie Dimon, Jeffrey Immelt.

3. Berkshire Hathaway 2004 chairman's letter, annual report.

4. Berkshire Hathaway letter to shareholders, 2006. Buffett had stated these criteria in private earlier.

5. Betsy Morris, "The Real Story," *Fortune,* May 31, 2004.

6. Investors felt that Coke should move aggressively into noncarbonated drinks, but the company insisted that international growth in carbonated beverages—the highest-margin product—was the only way to go. At $50, the stock was also still expensive at 24x earnings and 8.6x book value.

7. Coca-Cola Enterprises took a $103 million charge for the European recall during Ivester's reign. In 1999, Daft had to report the first loss in a decade and take a total of $1.6 billion of charges. Then, in 1Q2000, Daft reported Coke's second quarterly loss in a row—charges for massive restructuring/layoffs and a write-down of excess bottling capacity in India. In 2000, Coke took more charges and cut its projection for annual worldwide unit case volume growth to 5% to 6%, from 7% to 8%. Coke revised its targets again after 9/11.

8. Suppose Berkshire demanded a special deal. On $120 million of purchases, this might be worth, say, a dime a share, estimating liberally. Berkshire earned $5,309 per A equivalent share in 2003. (The company doesn't present cents per share in its financial statements.) To a B shareholder, it would be $^{3}/_{10}$ of a penny per share. It's very hard to make a case that an amount so small would incent Buffett to do something so contrary to Coca-Cola's interests as to force it to turn down a big contract with Burger King in order to keep selling Coca-Cola at Dairy Queen. That would be so even if Berkshire owned zero Coca-Cola stock. The

problem with the ISS approach was its absolutist checklist approach that applies no reasoning and proportionality.

9. CalPERS also opposed the election of Herbert Allen, former U.S. Senator Sam Nunn, and Don Keough because of their business relationships with the company.

10. Herbert Allen, "Conflict-Cola," *Wall Street Journal,* April 15, 2004.

11. Excerpts from a survey of corporate board members conducted by PricewaterhouseCoopers, as reported in *Corporate Board Member,* November/December 2004. PWC identified no comments or sentiment against Buffett.

12. Deborah Brewster, Simon London, "CalPERS Chief Relaxes in the Eye of the Storm," *Financial Times,* June 2, 2004.

13. Interview with Don Graham.

14. "Coke Shareholders Urged to Withhold Votes for Buffett," *Atlanta Business Chronicle,* April 9, 2004.

15. In "The Rise of Independent Directors in the U.S., 1950–2005: Of Shareholder Value and Stock Market Prices" (*Stanford Law Review,* April 2007), Jeffrey N. Gordon concludes, "One of the apparent puzzles in the empirical corporate governance literature is the lack of correlation between the presence of independent directors and the firm's economic performance. Various studies have searched in vain for an economically significant effect on the overall performance of the firm."

16. This issue was resolved through a consent decree on April 18, 2005, in which the company did not pay a fine or admit wrongdoing but promised to clean up its internal audit, compliance, and disclosure systems.

17. The GMP International Union, which also spoke at the meeting.

18. Transcript, Coca-Cola shareholder meeting 2004, courtesy of the Coca-Cola Company; Adam Levy and Steve Matthews, "Coke's World of Woes," *Bloomberg Markets,* July 2004; interviews with several directors and company employees.

19. Transcript, Coca-Cola shareholder meeting 2004, courtesy of the Coca-Cola Company.

20. Adam Levy and Steve Matthews, "Coke's World of Woes." The *New York Times* blasted Coke over severance payments to Heyer and other executives in "Another Coke Classic," June 16, 2004. The criticism was not universal; the *Economist* said Isdell was "welcomed by investors and analysts as a safe pair of hands" ("From Old Bottles," May 8, 2004).

21. For example, Constance L. Hays, in *The Real Thing: Truth and Power at the Coca-Cola Company* (New York: Random House, 2004), makes this inference.

Chapter 61

1. Interview with Tom Newman.

2. Interview with Kathleen Cole.

3. Ibid.

4. The author, too, has for some years sat in the managers' section, although she is not a shareholder.

5. This dinner, which was hosted by Morgan Stanley at the time, subsequently became a private event hosted by the author.

6. Courtesy Paul Wachter, producer, Oak Productions.

7. Tom Strobhar, "Report on B-H Shareholder Meeting," *Human Life International,* May 2004; "Special Report, HLI Embarrasses Warren Buffett in Front of 14,000 Stockholders," July 2004. Mr. Strobhar has a curious history. After serving as a leader in the boycott against Berkshire that resulted in canceling the shareholder-contributions program, he wrote an editorial in the *Wall Street Journal,* "Giving Until It Hurts" (August 1, 2003), criticizing the shareholder-contributions program for being a clandestine way of "paying" Buffett (Notwithstanding that Berkshire made no corporate charitable contributions nor paid a dividend). Strobhar identified himself only as the president of an investment firm in Dayton, Ohio, omitting his role in the boycott and the fact that he was chairman of Life Decisions International. Strobhar went on in 2005 to found Citizen Action Now, an organization designed to fight "the homosexual agenda" and for "an America free from the manipulation of homosexual groups." On the website of his investment firm, he borrows Buffett's reputation by advertising himself (as of November 2007) as "trained in the tradition of Ben Graham, the 'father of security analysis,' whose students include Warren Buffet [sic], 'the world's greatest investor.'…Like Graham and Buffett, Thomas Strobhar's focus is on 'value investing.'"

8. Excerpts from 2004 Berkshire Hathaway annual meeting are from notes of the author.

9. The Omaha Housing Authority bought the house for $89,900.

10. Interview with Susie Buffett Jr.

11. Ibid.

12. Ibid.

13. Ibid.

14. Howard Buffett Jr. (Howie B.), speaking at Susie's funeral.

15. Interview with T. D. Kelsey.

16. Ibid.

17. Interviews with Al Oehrle, Barbara Oehrle.

18. Interview with T. D. Kelsey.

19. Interviews with Herbert Allen, Barbara Oehrle, T. D. Kelsey.

20. Interview with Susie Buffett Jr.

21. Interviews with Herbert Allen, T. D. Kelsey. According to the Oehrles, Herbert Allen, and Barry Diller, the rest of the guests remained in Cody for the weekend and turned the weekend, as best they could, into a sort of tribute to Susie.

22. Interview with Susie Buffett Jr.

23. Interview with Howie Buffett.

24. Interviews with T. D. Kelsey, Herbert Allen.

25. Interviews with Susie Buffett Jr., Peter Buffett.

26. Interviews with Susie Buffett Jr. and Peter Buffett, who both said they found it comforting to have their

mother with them in the plane.

27. Interview with Howie Buffett.

28. Interview with Sharon Osberg.

29. Interview with Susie Buffett Jr.

30. Interview with Devon Spurgeon, whom Susie Jr. called on her honeymoon in Italy. The author was also supposed to make this trip; Buffett's wish for emotional support from women was probably at an all-time high during this period.

Chapter 62

1. She left significant amounts of money to Kathleen Cole and Ron Parks, her longtime trusted caretakers and friends. She left her grandchildren and other people modest amounts, from $10,000 to $100,000.

2. Interview with Tom Newman.

3. Interview with Howie Buffett.

4. Interview with Peter Buffett.

5. A. D. Amorosi, "In 'Spirit,' Tradition Is Besieged by Modern Life," *Philadelphia Inquirer,* May 23, 2005.

6. Interview with Susie Buffett Jr.

7. Interview with Peter Buffett.

8. Interview with Sharon Osberg.

9. Interview with Charlie Munger.

10. Berkshire Hathaway annual letter to shareholders, 2005.

11. Charles R. Morris, *The Trillion Dollar Meltdown.* New York: Public Affairs, 2008.

12. Carol Loomis, "Warren Buffett Gives It Away," *Fortune,* July 10, 2006.

13. Ibid.

14. Buffett could not resist: The note that accompanied Bertie's letter containing this comment said, *"She's still smarting about that a little bit."*

15. Interview with Doris Buffett.

16. In installments beginning in 2006, as long as either Bill or Melinda Gates is active in the foundation.

17. The first installment of 602,500 shares declined 5% a year in terms of shares thereafter. Buffett expected, as was reasonable, that the price of Berkshire's stock would increase by at least 5% a year (through modest growth and inflation). Thus, the dollar value of the gifts was likely to remain level or even increase from year to year. During the year between the first gift and the second, Berkshire's stock price went up 17%. The first 602,500-B-share distribution was worth $1.8 billion, compared to the second 572,375-B-share distribution worth $2 billion. In June 2006, BRK was trading at $91,500 (B shares at $3,043).

18. As quoted in "The Life Well Spent: An Evening with Warren Buffett," November 2007.

19. Bill Gates used the term "convenors." This approach differs, for example, from annually funding a vaccine program, which requires a continuing investment without a permanent cure.

20. "The New Powers of Giving," *Economist,* July 6, 2006; Karen DeYoung, "Gates, Rockefeller Charities Join to Fight African Hunger," *Washington Post,* September 13, 2006; Han Wilhelm, "Big Changes at the Rockefeller Foundation," *Chronicle of Philanthropy,* September 8, 2006; Andrew Jack, "Manna from Omaha: A Year of 'Giving While Living' Transforms Philanthropy," *Financial Times,* December 27, 2006.

21. Interview with Doris Buffett. See Sally Beaty, "The Wealth Report: The Other Buffett," *Wall Street Journal,* August 3, 2007.

22. Former President Jimmy Carter letter to Warren Buffett, October 18, 2006.

23. The guinea worm enters the body through the drinking of tainted water, then grows up to three feet long and the width of a paper clip. The worm burns its way out through the skin by emitting an excruciatingly painful acid, emerging a few inches a day as sufferers wind it around a twig. They often seek relief by plunging into water, where the erupting worm releases a cloud of larvae to begin the cycle anew. The Carter Center and other nongovernmental organizations are tantalizingly close to wiping out the guinea worm.

24. Interview with Astrid Buffett.

25. After Susie's death, both of her apartments in San Francisco's Pacific Heights were sold, as was the Buffetts' second house, "the dormitory," in Emerald Bay. Buffett kept the original house in Emerald Bay, which continues to be used by his children and grandchildren. He never goes there.

26. On December 12, 2007, major central banks began to provide funding at terms longer than overnight, and began to auction funding against a broader range of collateral and with a broader set of counterparties. The Federal Reserve activated swap lines to help the other central banks provide liquidity in dollars to their markets.

27. Using the return on capital figure he achieved for shareholders through 2007 as a proxy, the author estimates that Buffett (not including Susie's shares) would have been worth between $71 and $111 billion by the end of 2007 had he continued to charge his "partners" fees. Susie's stake would have been worth another $3.7–$5 billion. The difference between the high and low range is the fee structure (Buffett's former 25% plus 6% interest on capital to all partners—the high number—vs. the 2%/20% structure of most hedge funds today—the low number). The calculation assumes that Buffett took out the equivalent of his 6% a year for living expenses, as he typically did while running the partnership. That amounts to $1 million per year by 2007. His and Susie's (really Susie's) living expenses exceeded this by a wide margin; however, Buffett's personal investments—not part of Berkshire—also compounded at an astonishing rate and could (and did) fund Susie's lifestyle without further withdrawals from Berkshire.

28. Interview with Charlie Munger.

Afterword

1. Michael Santoli, "They've Got Class," *Barron's,* September 10, 2007.

2. E. S. Browning, "Stocks Tarnished by 'Lost Decade,'" *Wall Street Journal,* March 26, 2008.

3. Warren Buffett letter to Nicole Buffett, August 10, 2006.

4. Richard Johnson with Paula Froelich, Chris Wilson, and Bill Hoffmann, "Buffett to Kin: You're Fired!," *New York Post,* September 7, 2006.

5. This excludes approximately $180 million of imputed investment income on the $5.5 billion of General

Re's cash that Buffett had transferred to National Indemnity and Columbia Insurance through intercompany reinsurance agreements. General Re estimated the effect on its return on equity at 150 basis points in each of 2005, 2006, and 2007.

6. The combination of underwriting profits and higher float produced a 20% return on average equity in 2006 compared to losses in earlier years. Gen Re grew its book value at an average of 12.8% since 2001, bringing its capital to more than $11 billion, compared to $8.6 billion when it was acquired. General Re made a $526 million profit from underwriting on premiums of about $6 billion—compared to earlier losses of between $1 and $3 billion (depending on the year) on premiums of just under $9 billion. Float had risen from about $15 billion to $23 billion on a 32% decline in premiums.

7. Joseph P. Brandon letter to Warren Buffett, January 25, 2008.

8. Berkshire Hathway 2007 letter to shareholders.

9. HIH Royal Commission, *The Failure of HIH Insurance.* Australia: National Capital Printing, Canberra Publishing and Printing, April 2003.

10. Doug Simpson, "Search for Deep Pockets Widens in Reciprocal of America Case," Unintended Consequences blog (dougsimpson.com/blog), March 3, 2005; Timothy L. O'Brien, "Investigation of Insurance Puts Buffett in Spotlight," *New York Times,* March 28, 2005; Timothy L. O'Brien and Joseph B. Treaster, "The Insurance Scandal Shakes Main Street," *New York Times,* April 17, 2005; Marisa Taylor, "U.S. Dropped Enron-Like Fraud Probe," *McClatchy Newspapers,* July 23, 2007; Scott Horton, "Corporate Corruption and the Bush Justice Department," *Harper's Magazine,* July 24, 2007.

A Personal Note About Research

To write *The Snowball,* I spent more than five years interviewing Warren Buffett, both in person and on the phone. For weeks on end I sat in his office or traveled with him observing him work. Some of my most valuable insights came from my own experiences with him. I also interviewed his family, friends, former classmates, business associates, and others—250 people in all. Some of these interviews continued for days and I interviewed many people several times.

Warren gave me virtually unlimited time, and let me roam with surprising freedom among the files and correspondence in his exhaustive collection; it was especially fortunate that he and many of his friends and family members were letter-writers. Berkshire Hathaway's files contained material that helped establish a timeline and flesh out details. I also relied on my own growing understanding of Warren, and at times on my direct knowledge of events. Certain disagreements among sources are aired in the endnotes.

Quotes appear throughout the book to illuminate the narrative. Most quotes are from recorded interviews, and have been edited only for clarity and length. Sources were cited unless the interviewee asked not to be named.

During their interviews, many people recalled remarks from past conversations. Sometimes the events they were describing had taken place decades earlier. It would be naive to assume that all of these quotes are verbatim recollections of every word spoken. Nevertheless, I found them very helpful in conveying the substance of an incident or conversation. Their sources can be found in the endnotes.

In the end, my own extensive experience with Warren and the thousands of jigsaw puzzle pieces given me by so many sources came together in this portrait of a fascinating and deeply complex man.

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Susie Buffett Jr.: Image 1, Image 6, Image 3, Image 9, Image 13 Image 15, Image 17, Image 23, Image 28, Image 29, Image 33, Image 34, Image 38, Image 39, and Image 41, Image 64, Image 88

Warren Buffett: Image 8, Image 2, and Image 4, Image 10, Image 11, Image 14, Image 16, Image 19, Image 25, and Image 26, Image 30, Image 40, Image 43, Image 45, Image 46, Image 49, Image 55, Image 58, Image 63, Image 90

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M. Christine Torrington: Image 78,

www.asamathat.com: Image 86

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Without the help of many people this book would never have come into being. If I've succeeded, it's mainly thanks to the generosity of others. First among them, of course, is Warren Buffett. The generosity he showed by giving me so much access to his time, his family, his friends, and his files, and the courage he showed by refraining from meddling with the book for more than five years—right up until the day it went to the printer—are remarkable. His conviction that a smart person can do anything and his gentle but persistent Carnegizing lifted my aspirations as a writer and as a person, and changed my life. His influence on me cannot be described in a paragraph or a couple of pages—but for everything, Warren, I am grateful.

My literary agent, the peerless David Black, gave impeccable guidance. I trust him implicitly—above all to tell me important things that I don't want to hear—the most valuable quality you can have in a friend. He also stunned Warren into a moment of silence at his negotiating skill, not a small achievement.

My great good fortune was that the book was sold to the perceptive Irwyn Applebaum, the president and publisher of Bantam Dell, whose support and wisdom have inspired me throughout. Helping me was Ann Harris, my editor, who elevated *The Snowball* through her encouragement to write the story of a man's life seen in whole, and her editing with a meticulous eye for tone, context, and nuance. Later in the process, Beth Rashbaum unsheathed her red pencil, relentlessly pruning material this first-time author couldn't bear to cut herself, to the immeasurable improvement of the book. *The Snowball* owes much to them and I am grateful to have worked with two such talented editors. Any flaws, of course, are mine alone.

At Bantam I also thank Loren Noveck, who as the book's title administrator oversaw the multiple processes involved in producing a complex book; Virginia Norey, its designer; Ann's assistant Angela Polidoro; and the several others who collaborated in making *The Snowball* happen: deputy publisher Nita Taublib; publishing director Gina Wachtel; attorney Matthew Martin; production experts Tom Leddy, Maggie Hart, and Margaret Benton; creative marketing director Betsy Hulsebosch and her team; sales marketing director Cynthia Lasky; and publicity director Barb Burg.

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People trusted by both me and Warren—Sharon Osberg, Vinay Saqi, and Devon Spurgeon—provided various

types of assistance throughout, from financial commentary to calming frayed nerves. The love and support of my sister, Elizabeth Davey, and my father, Ken Davey, helped bring the book into being. David Moyer came into my life just in time to learn what it means to live with a writer who is finishing a book on deadline, and kiddingly referred to himself as my "fiancé in exile" while providing a shoulder to lean on, advice, laughter, love, and romance. He, along with Sharon Osberg and Justin Bennett, served as early readers, and *The Snowball* would be far poorer without their comments and advice.

I am indebted to many other people and organizations who helped with research and granted permission to use photographs and copyrighted material, as well as those who gave special help with the project directly or indirectly in various ways. My thanks go to Carol Allen, Herbert Allen, Ed Anderson and Joan Parsons, Jan and Brian Babiak, the Blumkin family, Hal Borthwick, Debbie Bosanek, Betsy Bowen, Joe Brandon, Phil Brooks, Kelly Broz, Jan and John Cleary, Carlon Colker, Robert Conte, Gerald Corrigan, Michael Daly, Leigh Ann Elisio, Stuart Erickson, Paul Fishman, Cynthia George, George Gillespie, Rick Guerin, Marc Hamburg, Carol Hayes, Liz Hylton, Mark Jankowski, Mr. and Mrs. Howard Jessen, Gladys Kaiser, Don Keough, Tom and Virginia Knapp, Margaret Landon, Arthur K. Langlie, David Larabell, Stanford Lipsey, Jack Mayfield, John Macfarlane, Michael McGivney, Verne McKenzie, Charles T. Munger Jr., Molly Munger, Wendy Munger, Tony Nicely, Dorothe Obert, Ron Olson, Chuck Peterson, Susan Raihofer, Rod Rathbun, Deb Ray, Eric Rosenfeld, Neil Rosini, Fred Reinhardt, Mick Rood, Gary Rosenberg, Edith Rubinstein, Michael Ruddell, Richard Santulli, Walter Schloss, Lou Simpson, Carol Sklenicka, Judge Stanley Sporkin, Mary Stanton Plowden-Wardlaw, Chris Stavrou, Bob Sullivan, Jeffrey Vitale, Marshall Weinberg, Sheila Weitzel, Bruce Whitman, Jackie Wilson, Al Zanner, and those who asked not to be named.

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WARREN BUFFETT

AND THE

INTERPRETATION OF FINANCIAL STATEMENTS

The Search for the Company with a Durable Competitive Advantage



MARY BUFFETT & DAVID CLARK

Bestselling Authors of

BUFFETTOLOGY

and

THE TAO OF WARREN BUFFETT



ALSO BY MARY BUFFETT AND DAVID CLARK

Buffettology

The Buffettology Workbook

The New Buffettology

The Tao of Warren Buffett

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WARREN BUFFETT

AND THE

INTERPRETATION OF FINANCIAL STATEMENTS

Introduction

For twelve years, from 1981 to 1993, I was the daughter-in-law of Warren Buffett, the world's most successful investor and now its greatest philanthropist.

Shortly after I married Warren's son Peter, and long before most of the world outside Wall Street had ever heard of Warren, I visited their family home in Omaha. While there, I met a small group of devoted students of the master investor's wisdom who referred to themselves as Buffettologists. One of the most successful Buffettologists, David Clark, kept notebooks filled with Warren's wisdom on investing, which were meticulous and endlessly fascinating to read. His notebooks were the foundation upon which he and I later shaped the internationally best-selling investment books: *The Tao of Warren Buffett, Buffettology, The Buffettology Workbook,* and *The New Buffettology,* which are now published in seventeen languages, including Hebrew, Arabic, Chinese, and Russian.

After the tremendous success of *The Tao of Warren Buffett,* I met up with David in Omaha during the 2007 Berkshire Hathaway annual meeting, and over lunch we fell into a dis-

cussion on the history of investment analysis. David pointed out that investment analysis during the late nineteenth century and the early part of the twentieth century was focused primarily on determining a company's solvency and earning power for the purposes of bond analysis. And that Benjamin Graham, the dean of Wall Street and Warren's mentor, had adapted early bond analysis techniques to common stocks analysis.

But Graham never made the distinction between a company that held a long-term competitive advantage over its competitors and one that didn't. He was only interested in whether or not the company had sufficient earning power to get it out of the economic trouble that had sent its stock price spiraling downward. He wasn't interested in owning a position in a company for ten or twenty years. If it didn't move after two years, he was out of it. It's not like Graham missed the boat; he just didn't get on the one that would have made him, like Warren, the richest man in the world.

Warren, on the other hand, after starting his career with Graham, discovered the tremendous wealth-creating economics of a company that possessed a long-term competitive advantage over its competitors. Warren realized that the longer you held one of these fantastic businesses, the richer it made you. While Graham would have argued that these super businesses were all overpriced, Warren realized that he didn't have to wait for the stock market to serve up a bargain price,

that even if he paid a fair price, he could still get superrich off of those businesses.

In the process of discovering the advantages of owning a business with a long-term competitive advantage, Warren developed a unique set of analytical tools to help identify these special kinds of businesses. Though rooted in the old school Grahamian language, his new way of looking at things enabled him to determine whether the company could survive its current problems. Warren's way also told him whether or not the company in question possessed a long-term competitive advantage that would make him superrich over the long run.

At the end of the lunch, I asked David if he thought it would be possible to create a small, easy-to-use guide to reading a company's financial statement, using the unique set of tools Warren had developed for uncovering these wonderfully profitable businesses.

I envisioned a straightforward and easy-to-understand book that would teach investors how to read a company's financial statement, to look for the same kinds of companies that Warren does. A book that not only would explain what a balance sheet and income statement are, but would point out what investors should look for if, like Warren, they are searching for a company that possesses a long-term competitive advantage.

David loved the idea, and within a month we were trading back and forth chapters of the book you now hold in your

hands, *Warren Buffett and the Interpretation of Financial Statements*.

We hope this book will help you make the quantum leap that Warren made by enabling you to go beyond the old-school Grahamian valuation models and discover, as Warren did, the phenomenal long-term wealth-creating power of a company that possesses a durable competitive advantage over its competitors. In the process you'll free yourself from the costly manipulations of Wall Street and gain the opportunity to join the growing ranks of intelligent investors the world over who are becoming tremendously wealthy following in the footsteps of this legendary and masterful investor.

MARY BUFFETT
JULY 2008



"You have to understand accounting and you have to understand the nuances of accounting. It's the language of business and it's an imperfect language, but unless you are willing to put in the effort to learn accounting—how to read and interpret financial statements—you really shouldn't select stocks yourself."

—Warren Buffett

CHAPTER 1

Two Great Revelations That Made Warren the Richest Person in the World

In the mid-sixties Warren began to reexamine Benjamin Graham's investment strategies. In doing so he had two stunning revelations about what kinds of companies would make the best investments and the most money over the long run. As a direct result of these revelations he altered the Graham-based value investment strategy he had used up until that time and in the process created the greatest wealth-investment strategy the world has ever seen.

It is the purpose of this book to explore Warren's two revelations—

1. How do you identify an exceptional company with a durable competitive advantage?
2. How do you value a company with a durable competitive advantage?

—to explain how his unique strategy works, and how he uses financial statements to put his strategy into practice. A practice that has made him the richest man in the world.

CHAPTER 2

The Kind of Business That Will Make Warren Superrich

To understand Warren's first great revelation we need to understand the nature of Wall Street and its major players. Though Wall Street provides many services to businesses, for the last 200 years it has also served as a large casino where gamblers, in the guise of speculators, place massive bets on the direction of stock prices.

In the early days some of these gamblers achieved great wealth and prominence. They became the colorful characters people loved reading about in the financial press. Big "Diamond" Jim Brady and Bernard Baruch are just a few who were drawn into the public eye as master investors of their era.

In modern times institutional investors—mutual funds, hedge funds, and investment trusts—have replaced the big-time speculators of old. Institutional investors "sell" them-

selves to the masses as highly skilled stock pickers, parading their yearly results as advertising bait for a shortsighted public eager to get rich quickly.

As a rule, stock speculators tend to be a skittish lot, buying on good news, then jumping out on bad news. If the stock doesn't make its move within a couple of months, they sell it and go looking for something else.

The best of this new generation of gamblers have developed complex computer programs that measure the velocity of how fast a stock price is either rising or falling. If a company's shares are rising fast enough, the computer buys in; if the stock price is falling fast enough, the computer sells out. Which creates a lot of jumping in and out of thousands of different stocks.

It is not uncommon for these computer investors to jump into a stock one day, then jump out the next. Hedge fund managers use this system and can make lots and lots of money for their clients. But there is a catch: They can also lose lots and lots of money for their clients. And when they lose money, those clients (if they have any money left) get up and leave, to go find a new stock picker to pick stocks for them.

Wall Street is littered with the stories of the rise and fall of hot and not-so-hot stock pickers.

This speculative buying and selling frenzy has been going on for a long, long time. One of the great buying frenzies of all times, in the 1920s, sent stock prices into the stratosphere.

But in 1929 came the Crash, sending stock prices spinning downward.

In the early 1930s an enterprising young analyst on Wall Street by the name of Benjamin Graham noticed that the vast majority of hotshot stock pickers on Wall Street didn't care at all about the long-term economics of the businesses that they were busy buying and selling. All they cared about was whether the stock prices, over the short run, were going up or down.

Graham also noticed that these hot stock pickers, while caught up in their speculative frenzy, would sometimes drive up the stock prices to ridiculous levels in relation to the long-term economic realities of the underlying businesses. He also realized that these same hotshots would sometimes send stock prices spiraling to insane lows that similarly ignored the businesses' long-term prospects. It was in these insane lows that Graham saw a fantastic opportunity to make money.

Graham reasoned that if he bought these "oversold businesses" at prices below their long-term intrinsic value, eventually the market would acknowledge its mistake and revalue them upward. Once they were revalued upward, he could sell them at a profit. This is the basis for what we know today as value investing. Graham was the father of it.

What we have to realize, however, is that Graham really didn't care about what kind of business he was buying. In his world every business had a price at which it was a bargain.

When he started practicing value investing back in the 1930s, he was focused on finding companies trading at less than half of what they held in cash. He called it "buying a dollar for 50 cents." He had other standards as well, such as never paying more than ten times a company's earnings and selling the stock if it was up 50%. If it didn't go up within two years, he would sell it anyway. Yes, his perspective was a bit longer than that of the Wall Street speculators, but in truth he had zero interest in where the company would be in ten years.

Warren learned value investing under Graham at Columbia University in the 1950s and then, right before Graham retired, he went to work for him as an analyst in Graham's Wall Street firm. While there Warren worked alongside famed value investor Walter Schloss, who helped school young Warren in the art of spotting undervalued situations by having him read the financial statements of thousands of companies.

After Graham retired, Warren returned to his native Omaha, where he had time to ponder Graham's methodology far from the madding crowd of Wall Street. During this period, he noticed a few things about his mentor's teachings that he found troubling.

The first thing was that not all of Graham's undervalued businesses were revalued upward; some actually went into bankruptcy. With every batch of winners also came quite a few losers, which greatly dampened overall performance. Graham tried to protect against this scenario by running a

broadly diversified portfolio, sometimes containing a hundred or more companies. Graham also adopted a strategy of getting rid of any stock that didn't move up after two years. But at the end of the day, many of his "undervalued stocks" stayed undervalued.

Warren discovered that a handful of the companies he and Graham had purchased, then sold under Graham's 50% rule, continued to prosper year after year; in the process he saw these companies' stock prices soar far above where they had been when Graham unloaded them. It was as if they bought seats on a train ride to Easy Street but got off well before the train arrived at the station, because he had no insight as to where it was headed.

Warren decided that he could improve on the performance of his mentor by learning more about the business economics of these "superstars." So he started studying the financial statements of these companies from the perspective of what made them such fantastic long-term investments.

What Warren learned was that these "superstars" all benefited from some kind of competitive advantage that created monopoly-like economics, allowing them either to charge more or to sell more of their products. In the process, they made a ton more money than their competitors.

Warren also realized that if a company's competitive advantage could be maintained for a long period of time—if it was "durable"—then the underlying value of the business

would continue to increase year after year. Given a continuing increase in the underlying value of the business, it made more sense for Warren to keep the investment as long as he could, giving him a greater opportunity to profit from the company's competitive advantage.

Warren also noticed that Wall Street—via the value investors or speculators, or a combination of both—would at some point in the future acknowledge the increase in the underlying value of the company and push its stock price upward. It was as if the company's durable competitive advantage made these business investments a self-fulfilling prophecy.

There was something else that Warren found even more financially magical. Because these businesses had such incredible business economics working in their favor, there was zero chance of them ever going into bankruptcy. This meant that the lower Wall Street speculators drove the price of the shares, the less risk Warren had of losing his money when he bought in. The lower stock price also meant a greater upside potential for gain. And the longer he held on to these positions, the more time he had to profit from these businesses' great underlying economics. This fact would make him tremendously wealthy once the stock market eventually acknowledged these companies' ongoing good fortune.

All of this was a complete upset of the Wall Street dictum that to maximize your gain you had to increase your underlying risk. Warren had found the Holy Grail of investments; he

had found an investment where, as his risk diminished, his potential for gain increased.

To make things even easier, Warren realized that he no longer had to wait for Wall Street to serve up a bargain price. He could pay a fair price for one of these super businesses and still come out ahead, provided he held the investment long enough. And, adding icing to an already delicious cake, he realized that if he held the investment long-term, and he never sold it, he could effectively defer the capital gains tax out into the far distant future, allowing his investment to compound tax-free year after year as long as he held it.

Let's look at an example: In 1973 Warren invested $11 million in The Washington Post Company, a newspaper with durable competitive advantage, and he has remained married to this investment to this day. Over the thirty-five years he has held this investment, its worth has grown to an astronomical $1.4 billion. Invest $11 million and make $1.4 billion! Not too shabby, and the best part is that because Warren has never sold a single share, he still has yet to pay a dime of tax on any of his profits.

Graham, on the other hand, under his 50% rule, would have sold Warren's Washington Post investment back in 1976 for around $16 million and would have paid a capital gains tax of 39% on his profits. Worse yet, the hotshot stock pickers of Wall Street have probably owned this stock a thousand times in the last thirty-five years for gains of 10 or 20% here

and there, and have paid taxes each time they sold it. But Warren milked it for a cool 12,460% return and still to this day hasn't paid a red cent in taxes on his $1.4 billion gain.

Warren has learned that time will make him superrich when he invests in a company that has a durable competitive advantage working in its favor.

CHAPTER 3

Where Warren Starts His Search for the Exceptional Company

Before we start looking for the company that will make us rich, which is a company with a durable competitive advantage, it helps if we know where to look. Warren has figured out that these super companies come in three basic business models: They sell either a unique product or a unique service, or they are the low-cost buyer and seller of a product or service that the public consistently needs.

Let's take a good look at each of them.

Selling a unique product: This is the world of Coca-Cola, Pepsi, Wrigley, Hershey, Budweiser, Coors, Kraft, *The Washington Post,* Procter & Gamble, and Philip Morris. Through the process of customer need and experience, and advertising promotion, the producers of these products have placed the stories of their products in our minds and in

doing so have induced us to think of their products when we go to satisfy a need. Want to chew some gum? You think of Wrigley. Feel like having a cold beer after a hot day on the job? You think of Budweiser. And things do go better with Coke.

Warren likes to think of these companies as owning a piece of the consumer's mind, and when a company owns a piece of the consumer's mind, it never has to change its products, which, as you will find out, is a good thing. The company also gets to charge higher prices and sell more of its products, creating all kinds of wonderful economic events that show up on the company's financial statements.

Selling a unique service: This is the world of Moody's Corp., H&R Block Inc., American Express Co., The ServiceMaster Co., and Wells Fargo & Co. Like lawyers or doctors, these companies sell services that people need and are willing to pay for—but unlike lawyers and doctors, these companies are institutional specific as opposed to people specific. When you think of getting your taxes done you think of H&R Block, you don't think of Jack the guy at H&R Block who does your taxes. When Warren bought into Salomon Brothers, an investment bank (now part of Citigroup), which he later sold, he thought he was buying an institution. But when top talent started to leave the firm with the firm's biggest clients, he realized it was people specific. In people-specific firms workers can demand and get a large part of the firm's

profits, which leaves a much smaller pot for the firm's owners/shareholders. And getting the smaller pot is not how investors get rich.

The economics of selling a unique service can be phenomenal. A company doesn't have to spend a lot of money on redesigning its products, nor does it have to spend a fortune building a production plant and warehousing its wares. Firms selling unique services that own a piece of the consumer's mind can produce better margins than firms selling products.

Being the low-cost buyer and seller of a product or service that the public has an ongoing need for: This is the world of Wal-Mart, Costco, Nebraska Furniture Mart, Borsheim's Jewelers, and the Burlington Northern Santa Fe Railway. Here, big margins are traded for volume, with the increase in volume more than making up for the decrease in margins. The key is to be both the low-cost buyer and the low-cost seller, which allows you to get your margins higher than your competitor's and still be the low-cost seller of a product or service. The story of being the best price in town becomes part of the consumer's story of where to shop. In Omaha, if you need a new stove for your home, you go the Nebraska Furniture Mart for the best selection and the best price. Want to ship your goods cross-country? The Burlington Northern Santa Fe Railway can give you the best deal for your money. Live in a small town and want the best selection with the best prices? You go to Wal-Mart.

It's that simple: Sell a unique product or service or be the low-cost buyer and seller of a product or service, and you get to cash in, year after year, just as though you broke the bank at Monte Carlo.

CHAPTER 4

Durability Is Warren's Ticket to Riches

Warren has learned that it is the "durability" of the competitive advantage that creates all the wealth. Coca-Cola has been selling the same product for the last 122 years, and chances are good that it will be selling the same product for the next 122 years.

It is this consistency in the product that creates consistency in the company's profits. If the company doesn't have to keep changing its product, it won't have to spend millions on research and development, nor will it have to spend billions retooling its plant to manufacture next year's model. So the money piles up in the company's coffers, which means that it doesn't have to carry a lot of debt, which means that it doesn't have to pay a lot in interest, which means that it ends up with lots of money to either expand its operations or buy back its stock, which will drive up earnings and the price of the company's stock—which makes shareholders richer.

So when Warren is looking at a company's financial statement, he is looking for consistency. Does it consistently have high gross margins? Does it consistently carry little or no debt? Does it consistently *not* have to spend large sums on research and development? Does it show consistent earnings? Does it show a consistent growth in earnings? It is this "consistency" that shows up on the financial statement that gives Warren notice of the "durability" of the company's competitive advantage.

The place that Warren goes to discover whether or not the company has a "durable" competitive advantage is its financial statements.

CHAPTER 5

Financial Statement Overview: Where the Gold Is Hidden

Financial statements are where Warren mines for companies with the golden durable competitive advantage. It is the company's financial statements that tell him if he is looking at a mediocre business forever moored to poor results or a company that has a durable competitive advantage that is going to make him superrich.

Financial statements come in three distinct flavors:

First, there is the *Income Statement*: The income statement tells us how much money the company earned during a set period of time. The company's accountants traditionally generate income statements for shareholders to see for each three-month period during the fiscal year and for the whole fiscal year. Using the company's income statement, Warren can determine such things as the company's margins, its return equity, and, most important, the consistency and direction of its earnings. All of these factors are necessary in determining whether the company is benefiting from a durable competitive advantage.

The second flavor is the *Balance Sheet*: The balance sheet tells us how much money the company has in the bank and how much money it owes. Subtract the money owed from the money in the bank and we get the net worth of the company. A company can create a balance sheet for any given day of the year, which will show what it owns, what it owes, and its net worth for that particular day.

Traditionally, companies generate a balance sheet for shareholders to see at the end of each three-month period of time (called quarter) and at the end of the accounting or fiscal year. Warren has learned to use some of the entries on the balance sheet—such as the amount of cash the company has or the amount of long-term debt it carries—as indicators of the presence of a durable competitive advantage.

Third, there is the *Cash Flow Statement*: The cash flow statement tracks the cash that flows in and out of the business. The cash flow statement is good for seeing how much money the company is spending on capital improvements. It also tracks bond and stock sales and repurchases. A company will usually issue a cash flow statement along with its other financial statements.

In the chapters ahead we shall explore in detail the income statement, balance sheet, and cash flow statement entries and indicators that Warren uses to discover whether or not the company in question has a durable competitive advantage that will make him rich over the long run.

CHAPTER 6

Where Warren Goes to Find Financial Information

In the modern age of the Internet there are dozens of places where one can easily find a company's financial statements. The easiest access is through either MSN.com (http://moneycentral.msn.com/investor/home.asp) or Yahoo's Finance web page (www.finance.yahoo.com).

We use both, but Microsoft Network's MSN.com has more detailed financial statements. To begin, find where you type in the symbol for the stock quotes on both sites, then type in the name of the company. Click it when it pops up, and both MSN and Yahoo! will take you to that company's stock quote page. On the left you'll find a heading called "Finance," under which are three hyperlinks that take you to the company's balance sheet, income statement, and cash flow. Above that, under the heading "SEC," is a hyperlink to documents filed with the U.S. Securities and Exchange Commission (SEC). All publicly traded companies must file quarterly finan-

cial statements with the SEC; these are known as 8Qs. Also filed with the SEC is a document called the 10K, which is the company's annual report. It contains the financial statements for the company's accounting or fiscal year. Warren has read thousands of 10Ks over the years, as they do the best job of reporting the numbers without all the fluff that can get stuffed into a shareholders' annual report.

For the hard-core investor Bloomberg.com offers the same services and a lot more, for a fee. But honestly, unless we are buying and selling bonds or currencies, we can get all the financial information we need to build a stock portfolio for free from MSN and Yahoo! And "free" financial information always makes us smile!



THE INCOME STATEMENT

"You have to read a zillion corporate annual reports and their financial statements."

—Warren Buffett

"Some men read Playboy. *I read annual reports."*

—Warren Buffett

CHAPTER 7

Where Warren Starts: The Income Statement

Income Statement	
($ in millions)	
Revenue	$10,000
Cost of Goods Sold	3,000
Gross Profit	7,000
Operating Expenses	
Selling, General & Admin.	2,100
Research & Development	1,000
Depreciation	700
Operating Profit	3,200
Interest Expense	200
Gain (Loss) Sale Assets	1,275
Other	225
Income Before Tax	1,500
Income Taxes Paid	525
Net Earnings	$975

In his search for the magic company with a durable competitive advantage, Warren always starts with the firm's income statement. Income statements tell the investor the results of the company's operations for a set period of time. Traditionally, they are reported for each three-month period and at the end of the year. Income statements are always labeled for the time period they cover—such as January 1, 2007, to December 31, 2007.

An income statement has three basic components: First, there is the revenue of the business. Then there is the firm's expenses, which are subtracted from the firm's revenue and tell us whether the company earned a profit or had a loss. Sounds simple, doesn't it? It is.

In the early days of stock analysis the leading analysts of the time, such as Warren's mentor Benjamin Graham, focused purely on whether or not the firm produced a profit, and gave little or no attention to the long-term viability of the source of the company's earnings. As we discussed earlier, Graham didn't care if the company was an exceptional business with great economics working in its favor or if it was one of the thousands of mediocre businesses struggling to get by. Graham would buy into a lousy business in a heartbeat if he thought he could get it cheaply enough.

Part of Warren's insight was to divide the world of busi-

nesses into two different groups: First, there were the companies that had a long-term durable competitive advantage over their competitors. These were the businesses which, if he could buy them at a fair or better price, would make him superrich if he held them long enough. The other group was all the mediocre businesses that struggled year after year in a competitive market, which made them poor long-term investments.

In Warren's search for one of these amazing businesses, he realized that the individual components of a company's income statement could tell him whether or not the company possessed the superwealth-creating, long-term durable competitive advantage that he so coveted. Not just whether or not the company made money. But what kind of margins it had, whether it needed to spend a lot on research and development to keep its competitive advantage alive, and whether it needed to use a lot of leverage to make money. These factors comprise the kind of information he mines from the income statement to learn the nature of a company's economic engine. To Warren, the source of the earnings is always more important than the earnings themselves.

For the next fifty chapters we are going to focus on the individual components of a company's financial statement and what Warren is searching for that will tell him if this is the kind of business that will send him into poverty, or the golden business with a long-term durable competitive advantage that will continue to make him one of the richest people in the world.

CHAPTER 8

Revenue: Where the Money Comes In

Income Statement	
($ in millions)	
→ Revenue	$10,000
Cost of Goods Sold	3,000
Gross Profit	$7,000

The first line on the income statement is always total, or gross, revenue. This is the amount of money that came in the door during the period of time in question, which is reported either quarterly or yearly. If we are manufacturing shoes and we sell $120 million worth of shoes in a year, we will report $120 million of total revenue for the year on our yearly income statement.

Now the fact that a company has a lot of revenue doesn't mean that it is earning a profit. To determine if a company is earning a profit, you need to deduct the expenses of the business from its total revenues. Total revenue minus expenses equals net earnings. But the total revenue number by itself tells us nothing until we subtract the expenses and find out what the net earnings are.

After Warren has taken a peek at the total revenues of a business, he starts a long and careful dig through the expenses. Because Warren knows that one of the great secrets to making more money is spending less money.

CHAPTER 9

Cost of Goods Sold: For Warren the Lower the Better

Income Statement	
($ in millions)	
Revenue	$10,000
→ Cost of Goods Sold	3,000
Gross Profit	$7,000

On the income statement, right under the line for Total Revenue comes the Cost of Goods Sold, also known as the Cost of Revenue. The cost of goods sold is either the cost of purchasing the goods the company is reselling or the cost of the materials and labor used in manufacturing the products it is selling. "Cost of revenue" is usually used in place of "cost of goods sold" if the company is in the business of providing

services rather than products. Essentially they are the same thing—but one is a little more encompassing than the other. We should always investigate exactly what the company is including in its calculation of its cost of sales or cost of revenue. This gives us a good idea of how management is thinking about the business.

A simple example of how a furniture company might calculate its cost of goods number would be: Start with the cost of the company's furniture inventory at the beginning of the year; add in the cost of adding to the furniture inventory during the year; and then subtract the cash value of the furniture inventory left at the end of the year. Therefore, if a company starts the year with $10 million in inventory, makes $2 million in purchases to add to the inventory, and ends the period with an inventory whose cost value is $7 million, the company's cost of goods for the period would be $5 million.

Although the cost of goods sold, as a lone number, doesn't tell us much about whether the company has a durable competitive advantage or not, it is essential in determining the Gross Profit of the business, which is a key number that helps Warren determine whether or not the company has a long-term competitive advantage. We discuss this further in the next chapter.

CHAPTER 10

Gross Profit/Gross Profit Margin: Key Numbers for Warren in His Search for Long-Term Gold

Income Statement	
($ in millions)	
→ Revenue	$10,000
Cost of Goods Sold	3,000
→ Gross Profit	$7,000

Gross Profit $7,000 ÷ Revenue $10,000 = Gross Profit Margin 70%

Now if we subtract from the company's total revenue the amount reported as its Cost of Goods Sold, we get the company's reported Gross Profit. An example: total revenue of $10 million less cost of goods sold of $7 million equals a gross profit of $3 million.

Gross profit is how much money the company made off of total revenue after subtracting the costs of the raw goods and the labor used to make the goods. It doesn't include such categories as sales and administrative costs, depreciation, and the interest costs of running the business.

By itself, gross profit tells us very little, but we can use this number to calculate the company's gross profit margin, which can tell us a lot about the economic nature of the company.

The equation for determining gross profit margin is:

Gross Profit ÷ Total Revenues = Gross Profit Margin

Warren's perspective is to look for companies that have some kind of durable competitive advantage—businesses that he can profit from over the long run. What he has found is that companies that have excellent long-term economics working in their favor tend to have **consistently** higher gross profit margins than those that don't. Let me show you:

The gross profit margins of companies that Warren has already identified as having a durable competitive advantage include: Coca-Cola, which shows a consistent gross profit margin of 60% or better; the bond rating company Moody's, 73%; the Burlington Northern Santa Fe Railway, 61%; and the very chewable Wrigley Co., 51%.

Contrast these excellent businesses with several companies we know that have poor long-term economics, such as the

in-and-out-of-bankruptcy United Airlines, which shows a gross profit margin of 14%; troubled auto maker General Motors, which comes in at a weak 21%; the once troubled, but now profitable U.S. Steel, at a not-so-strong 17%; and Goodyear Tire—which runs in any weather, but in a bad economy is stuck at a not-very-impressive 20%.

In the tech world—a field Warren stays away from because he doesn't understand it—Microsoft shows a consistent gross profit margin of 79%, while Apple Inc. comes in at 33%. These percentages indicate that Microsoft produces better economics selling operating systems and software than Apple does selling hardware and services.

What creates a high gross profit margin is the company's durable competitive advantage, which allows it the freedom to price the products and services it sells well in excess of its cost of goods sold. Without a competitive advantage, companies have to compete by lowering the price of the product or service they are selling. That drop, of course, lowers their profit margins and therefore their profitability.

As a very general rule (and there are exceptions): Companies with gross profit margins of 40% or better tend to be companies with some sort of durable competitive advantage. Companies with gross profit margins below 40% tend to be companies in highly competitive industries, where competition is hurting overall profit margins (there are exceptions here, too). Any gross profit margin of 20% and below is usually a

good indicator of a fiercely competitive industry, where no one company can create a sustainable competitive advantage over the competition. And a company in a fiercely competitive industry, without some kind of competitive advantage working in its favor, is never going to make us rich over the long run.

While the gross profit margin test is not fail-safe, it is one of the early indicators that the company in question has some kind of consistent durable competitive advantage. Warren strongly emphasizes the word "durable," and to be on the safe side we should track the annual gross profit margins for the last ten years to ensure that the "consistency" is there. Warren knows that when we look for companies with a durable competitive advantage, "consistency" is the name of the game.

Now there are a number of ways that a company with a high gross profit margin can go astray and be stripped of its long-term competitive advantage. One of these is high research costs, another is high selling and administrative costs, and a third is high interest costs on debt. Any one of these three costs can destroy the long-term economics of the business. These are called operating expenses, and they are the thorn in the side of every business.

CHAPTER 11

Operating Expenses: Where Warren Keeps a Careful Eye

Income Statement	
($ in millions)	
Revenue	$10,000
Cost of Goods Sold	3,000
Gross Profit	7,000
→ Operating Expenses	
Selling, General & Admin.	2,100
Research & Development	1,000
Depreciation	700
Operating Profit	$3,200

Right beneath the line on the income statement for gross profit comes a group of expenses called operating expenses.

These are all the company's hard costs associated with research and development of new products, selling and administrative costs of getting the product to market, depreciation and amortization, restructuring and impairment charges, and the catch-all "other" that includes all non-operating, non-recurring expenses.

When these entries are added, they make up the company's total operating expenses, which are then subtracted from the gross profit to give us the firm's operating profit or loss. Since these entries all have an impact on the long-term economic nature of the business, it is best if we spend the next couple of chapters going through them one by one in true Warren fashion.

CHAPTER 12

Selling, General, and Administrative Expenses

Income Statement	
($ in millions)	
Revenue	$10,000
Cost of Goods Sold	3,000
Gross Profit	7,000
Operating Expenses	
→ Selling, General & Admin.	2,100
Research & Development	1,000
Interest	700
Operating Profit	$3,200

On the income statement under the heading of Selling, General & Administrative (SGA) Expenses is where the com-

pany reports its costs for direct and indirect selling expenses and all general and administrative expenses incurred during the accounting period. These include management salaries, advertising, travel costs, legal fees, commissions, all payroll costs, and the like.

With a company like Coca-Cola, these expenses run into the billions and have a tremendous impact on the company's bottom line. As a percentage of gross profit, they vary greatly from business to business. They even vary with companies like Coca-Cola that have a durable competitive advantage. Coca-Cola consistently spends on average 59% of its gross profit on SGA expenses. A company like Moody's consistently spends on average 25%, and Procter & Gamble consistently spends right around 61%. "Consistently" is the key word.

Companies that don't have a durable competitive advantage suffer from intense competition and show wild variation in SGA costs as a percentage of gross profit. GM, over the last five years, has gone from spending 28% to 83% of its gross profits on SGA costs. Ford, over the last five years, has been spending 89% to 780% of its gross profits on SGA expenses, which means that they are losing money like crazy. What happens is that sales start to fall, which means revenues fall, but SGA costs remain. If the company can't cut SGA costs fast enough, they start eating into more and more of the company's gross profits.

In the search for a company with a durable competitive

advantage the lower the company's SGA expenses, the better. If they can stay consistently low, all the better. In the world of business anything under 30% is considered fantastic. However, there are a number of companies with a durable competitive advantage that have SGA expenses in the 30% to 80% range. But if we see a company that is repetitively showing SGA expenses close to, or in excess of, 100%, we are probably dealing with a company in a highly competitive industry where no one entity has a sustainable competitive advantage.

There are also companies with low to medium SGA expenses that destroy great long-term business economics with high research and development costs, capital expenditures, and/or interest expense on their debt load.

Intel is a perfect example of a company that has a low ratio of SGA expenses to gross profit, but that because of high research and development costs has seen its long-term economics reduced to just average. Yet if Intel stopped doing research and development, its current batch of products would be obsolete within ten years and it would have to go out of business.

Goodyear Tire has a 72% ratio of SGA expenses to gross profit, but its high capital expenditures and interest expense—from the debt used to finance its capital expenditures—are dragging the tire maker into the red every time there is a recession. But if Goodyear didn't add the debt to make all those capital expenditures/improvements, it wouldn't stay competitive for very long.

Warren has learned to steer clear of companies cursed with consistently high SGA expenses. He also knows that the economics of companies with low SGA expenses can be destroyed by expensive research and development costs, high capital expenditures, and/or lots of debt. He avoids these kinds of businesses regardless of the price, because he knows that their inherent long-term economics are so poor that even a low asking price for the stock will not save investors from a lifetime of mediocre results.

CHAPTER 13

Research and Development: Why Warren Stays Away from It

Income Statement	
($ in millions)	
Revenue	$10,000
Cost of Goods Sold	3,000
→ Gross Profit	7,000
Operating Expenses	
Selling, General & Admin.	2,100
→ Research & Development	1,000
Depreciation	700
Operating Profit	$3,200

This is a big one in the game of identifying companies with a durable competitive advantage. What seems like a long-term

competitive advantage is often an advantage bestowed upon the company by a patent or some technological advancement. If the competitive advantage is created by a patent, as with the pharmaceutical companies, at some point in time that patent will expire and the company's competitive advantage will disappear.

If the competitive advantage is the result of some technological advancement, there is always the threat that newer technology will replace it. This is why Microsoft is so afraid of the technological advancements of Google. Today's competitive advantage may end up becoming tomorrow's obsolescence.

Not only must these companies spend huge sums of money on R&D, but because they are constantly having to invent new products they must also redesign and update their sales programs, which means that they also have to spend heavily on selling and administrative costs. Consider this: Merck must spend 29% of its gross profit on R&D and 49% of its gross profit on selling, general, and administrative costs (SGA), which, when combined, eat up a total 78% of its gross profit. What's more, if Merck & Co. fails to invent the next new multibillion-dollar-selling drug, it loses its competitive advantage when its existing patents expire.

Intel, while the leader in its fast-paced field, must consistently spend approximately 30% of its gross profit on R&D expenses; if it doesn't, it will lose its competitive advantage within just a few years.

Moody's, the bond rating company, is a long-time Warren favorite, with good reason. Moody's has no R&D expense, and on average spends only 25% of its gross profit on SGA expenses. Coca-Cola, which also has no R&D costs, but has to advertise like crazy, still, on average, spends only 59% of its gross profit on SGA costs. With Moody's and Coca-Cola, Warren doesn't have to lie awake at night worrying that some drug patent is going to expire or that his company won't win the race to the next technological breakthrough.

Here then is Warren's rule: Companies that have to spend heavily on R&D have an inherent flaw in their competitive advantage that will always put their long-term economics at risk, which means they are not a sure thing.

And if it is not a sure thing, Warren is not interested.

CHAPTER 14

Depreciation: A Cost Warren Can't Ignore

Income Statement	
($ in millions)	
Revenue	$10,000
Cost of Goods Sold	3,000
→ Gross Profit	7,000
Operating Expenses	
Selling, General & Admin.	2,100
Research & Development	1,000
→ Depreciation	700
Operating Profit	$3,200

All machinery and buildings eventually wear out over time; this wearing out is recognized on the income statement as depreciation. Basically, the amount that something depreci-

ates in a given year is a cost that is allocated against income for that year. This makes sense: The amount by which the asset depreciated can arguably be said to have been used in the company's business activity of the year that generated the income.

An example: Imagine that a million-dollar printing press is bought by XYZ Printing Corporation. This printing press has a life span of ten years. Because it has a life span of ten years, the Internal Revenue Service will not let the company expense the entire $1 million cost in the year that it was purchased. Instead, the press must be expensed over the ten years that it is in service. A ten-year life span and an original cost of $1 million will mean that XYZ will depreciate the printing press at a rate of $100,000 a year. Depreciation is a real cost of doing business, because at some time in the future, the printing press will have to be replaced.

The buying of the printing press will—on the balance sheet—cause $1 million to come out of cash and $1 million to be added to plant and equipment. Then, for the next ten years, the depreciated cost of $100,000 a year will show up on the income statement as an expense. On the balance sheet each year, $100,000 will be subtracted from the plant and equipment asset account and $100,000 added to the accumulated depreciation liability account. The actual $1 million cash outlay for the printing press will show up on the cash flow statement under capital expenditures. We would like to emphasize that the million-dollar expense for the printing press is not

taken in the year that it is bought; rather it is allocated as a depreciation expense to the income statement, in $100,000 increments, over a ten-year period.

A neat trick that Wall Street financial types have figured out is that once the printing press is bought and paid for, the $100,000 yearly depreciation expense doesn't take any more additional cash outlays, but it does decrease earnings that are reported to the IRS every year for the next ten years. This means that, from a short-term perspective, XYZ has a yearly cost that in reality isn't costing it any additional outlays of cash. Thus, the Wall Street financial types can add that $100,000 cost back into earnings, which means that the cash flow of the business can now support more debt for such fun money-making ventures as leveraged buyouts. Wall Street has an acronym for this earnings recalculation: They call it EBITDA—meaning Earnings Before Income Tax, Depreciation, and Amortization.

Warren says that by using EBITDA our clever Wall Street types are ignoring that eventually the printing press will wear out and the company will have to come up with another $1 million to buy a new one. But now the company is saddled with a ton of debt left over from the leveraged buyout and might not have the ability to finance the $1 million purchase of a new printing press.

Warren believes that depreciation is a very real expense and should always be included in any calculation of earnings.

To do otherwise would be to delude ourselves over the short-term into believing that business is earning more than it actually is. And one does not get rich off delusions.

What Warren has discovered is that companies that have a durable competitive advantage tend to have lower depreciation costs as a percentage of gross profit than companies that have to suffer the woes of intense competition. As an example, Coca-Cola's depreciation expense consistently runs about 6% of its gross profits, and Wrigley's, another durable competitive advantage holder, also runs around 7%. And Procter & Gamble, another long-time Warren favorite, comes in at approximately 8%. Contrast the case of GM, which is in a highly competitive capital-intensive business. Its depreciation expense runs anywhere from 22% to 57% of its gross profits.

As with any expense that eats into a company's gross profits, Warren has found that less always means more—when it comes to increasing the bottom line.

CHAPTER 15

Interest Expense: What Warren Doesn't Want

Income Statement	
($ in millions)	
Revenue	$10,000
Cost of Goods Sold	3,000
→ Gross Profit	7,000
Operating Expenses	
Selling, General & Admin.	2,100
Research & Development	1,000
Depreciation	700
Operating Profit	3,200
→ Interest Expense	$200

Interest Expense is the entry for the interest paid out, during the quarter or year, on the debt the company carries on its bal-

ance sheet as a liability. While it is possible for a company to be earning more in interest than it is paying out, as with a bank, the vast majority of manufacturing and retail businesses pay out far more in interest than they earn.

This is called a financial cost, not an operating cost, and it is isolated out on its own, because it is not tied to any production or sales process. Instead, interest is reflective of the total debt that the company is carrying on its books. The more debt the company has, the more interest it has to pay.

Companies with high interest payments relative to operating income tend to be one of two types: a company that is in a fiercely competitive industry, where large capital expenditures are required for it to stay competitive, or a company with excellent business economics that acquired the debt when the company was bought in a leveraged buyout.

What Warren has figured out is that companies with a durable competitive advantage often carry little or no interest expense. Long-term competitive advantage holder Procter & Gamble has to pay a mere 8% of its operating income out in interest costs; the Wrigley Co. has to pay an average 7%; contrast those two companies with Goodyear, which is in the highly competitive and capital-intensive tire business. Goodyear has to pay, on average, 49% of its operating income out in interest payments.

Even in highly competitive businesses like the airline industry, the amount of the operating income paid out in inter-

est can be used to identify companies with a competitive advantage. The consistently profitable Southwest Airlines pays just 9% of operating income in interest payments, while its in-and-out-of-bankruptcy competitor United Airlines pays 61% of its operating income out in interest payments. Southwest's other troubled competitor, American Airlines, pays a whopping 92% of its operating income out in interest payments.

As a rule, Warren's favorite durable competitive advantage holders in the consumer products category all have interest payouts of less than 15% of operating income. But be aware that the percentage of interest payments to operating income varies greatly from industry to industry. As an example: Wells Fargo, a bank in which Warren owns a 14% stake, pays out approximately 30% of its operating income in interest payments, which seems high compared with Coke's, but actually makes the bank, out of America's top five, the one with the lowest and most attractive ratio. Wells Fargo is also the only one with a AAA rating from Standard & Poor's.

The ratio of interest payments to operating income can also be very informative as to the level of economic danger that a company is in. Take the investment banking business, which on average makes interest payments in the neighborhood of 70% of its operating income. A careful eye would have picked up the fact that in 2006 Bear Stearns reported that it was paying out 70% of its operating income in interest payments, but that by the quarter that ended in November 2007,

its percentage of interest payments to operating income had jumped to 230%. This means that it had to dip into its shareholders' equity to make up the difference. In a highly leveraged operation like Bear Stearns, that spelled disaster. By March of 2008 the once mighty Bear Stearns, whose shares had traded as high as $170 the year before, was being forced to merge with JP Morgan Chase & Co. for a mere $10 a share.

The rule here is real simple: In any given industry the company with the lowest ratio of interest payments to operating income is usually the company most likely to have the competitive advantage. In Warren's world, investing in the company with a durable competitive advantage is the only way to ensure that we are going to get rich over the long-term.

CHAPTER 16

Gain (or Loss) on Sale of Assets and Other

Income Statement	
($ in millions)	
Operating Expenses	
Selling, General & Admin.	$2,100
Research & Development	1,000
Depreciation	700
Operating Profit	3,200
Interest Expense	200
→ Gain (Loss) Sale Assets	1,275
→ Other	225

When a company sells an asset (other than inventory), the profit or loss for the sale is recorded under Gain (or Loss) on

Sale of Assets. The profit is the difference between the proceeds from the sale and the carrying amount shown on the company's books. If the company had a building that it paid $1 million for, and after depreciating it down to $500,000, sold it for $800,000, the company would record a gain of $300,000 on the sale of the asset. Likewise, if the building sold for $400,000, the company would record a loss of $100,000.

The same thing applies to the entry "Other." This is where non-operating, unusual, and infrequent income and expense events are netted out and entered onto the income statement. Such events would include the sale of fixed assets, such as property, plant, and equipment. Also included under "Other" would be licensing agreements and the sale of patents, if they were categorized as outside the normal course of business.

Sometimes these nonrecurring events can significantly add to a company's bottom line. Since these *are* nonrecurring events, Warren believes that they should be removed from any calculation of the company's net earnings in determining whether or not the company has a durable competitive advantage.

CHAPTER 17

Income Before Tax: The Number That Warren Uses

Income Statement	
($ in millions)	
Operating Expenses	
Selling, General & Admin.	$2,100
Research & Development	1,000
Depreciation	700
Operating Profit	3,200
Interest Expense	200
Gain (Loss) Sale Assets	1,275
Other	225
→ Income Before Tax	$1,500

"Income before tax" is a company's income after all expenses have been deducted, but before income tax has been sub-

tracted. It is also the number that Warren uses when he is calculating the return that he is getting when he buys a whole business, or when he buys a partial interest in a company through the open-market purchase of its shares.

With the exception of tax-free investments, all investment returns are marketed on a pre-tax basis. And since all investments compete with each other, it is easier to think about them if they are thought about in equal terms.

When Warren bought $139 million worth of tax-free bonds in Washington Public Power Supply System (WPPSS), which paid him $22.7 million a year in tax-free interest, he reasoned that an after-tax $22 million was the same as earning a pre-tax $45 million. To buy a business that would earn him a pre-tax $45 million would cost him $250 million to $300 million. Thus, he viewed the WPPSS bonds as a business that he was buying at a 50% discount, relative to the value of what other businesses with similar economics were selling for.

Warren has always discussed the earnings of a company in pre-tax terms. This enables him to think about a business or investment in terms relative to other investments. It is also one of the cornerstones of his revelation that a company with a durable competitive advantage is actually a kind of "equity bond," with an expanding coupon or interest rate. We shall explore his "equity bond" theory in much greater detail toward the end of the book.

CHAPTER 18

Income Taxes Paid: How Warren Knows Who Is Telling the Truth

Income Statement	
($ in millions)	
Operating Expenses	
Selling, General & Admin.	$2,100
Research & Development	1,000
Depreciation	700
Operating Profit	3,200
Interest Expense	200
Gain (Loss) Sale Assets	1,275
Other	225
Income Before Tax	1,500
→ Income Taxes Paid	$525

Just like every other taxpayer, American corporations have to pay taxes on their income. Today, in America, that amount

is approximately 35% of their income. When taxes are paid, they are recorded on the income statement under the heading Income Taxes Paid.

Now what is interesting about Income Taxes Paid is that the line item reflects the company's true pre-tax earnings. Sometimes, companies like to tell the world that they are making more money than they actually are. (Shocking, isn't it?) One of the ways to see if they are telling the truth is to look at the documents they file with the SEC and see what they are paying in income taxes. Take the number they list as pre-tax operating income and deduct 35% from it. If the remainder doesn't equal the amount the company reported as income taxes paid, we had better start asking some questions.

Warren has learned over the years that companies that are busy misleading the IRS are usually hard at work misleading their shareholders as well. The beauty of a company with a long-term competitive advantage is that it makes so much money it doesn't have to mislead anyone to look good.

CHAPTER 19

Net Earnings: What Warren Is Looking For

Income Statement	
($ in millions)	
Operating Expenses	
Selling, General & Admin.	$2,100
Research & Development	1,000
Depreciation	700
Operating Profit	3,200
Interest Expense	200
Gain (Loss) Sale Assets	1, 275
Other	225
Income Before Tax	1,500
Income Taxes Paid	525
→ Net Earnings	$975

After all the expenses and taxes have been deducted from a company's revenue, we get the company's net earnings. This

is where we find out how much money the company made after it paid income taxes. There are a couple of concepts that Warren uses when he looks at this number that help him determine whether the company has a durable competitive advantage, so why don't we start there.

First on Warren's list is whether or not the net earnings are showing a historical upward trend. A single year's entry for net earnings is worthless to Warren; he is interested in whether or not there is consistency in the earnings picture and whether the long-term trend is upward—both of which can be equated to "durability" of the competitive advantage. For Warren the ride doesn't have to be smooth, but he is after a historical upward trend.

But note: Because of share repurchase programs it is possible that a company's historical net earnings trend may be different from its historical per-share earnings trend. Share repurchase programs will increase per-share earnings by decreasing the number of shares outstanding. If a company reduces the number of shares outstanding, it will decrease the number of shares being used to divide the company's net earnings, which in turn increases per-share earnings even though actual net earnings haven't increased. In extreme examples the company's share repurchase program can even cause an increase in per-share earnings, while the company is experiencing an actual decrease in net earnings.

Though most financial analysis focuses on a company's

per-share earnings, Warren looks at the business's net earnings to see what is actually going on.

What he has learned is that companies with a durable competitive advantage will report a higher percentage of net earnings to total revenues than their competitors will. Warren has said that given the choice between owning a company that is earning $2 billion on $10 billion in total revenue, or a company earning $5 billion on $100 billion in total revenue, he would choose the company earning the $2 billion. This is because the company with $2 billion in net earnings is earning 20% on total revenues, while the company earning $5 billion is earning only 5% on total revenues.

So, while the total revenue number alone tells us very little about the economics of the business, its ratio to net earnings can tell us a lot about the economics of the business compared with other businesses.

A fantastic business like Coca-Cola earns 21% on total revenues, and the amazing Moody's earns 31%, which reflects these companies' superior underlying business economics. But a company like Southwest Airlines earns a meager 7%, which reflects the highly competitive nature of the airline business, in which no one airline holds a long-term competitive advantage over its peers. In contrast, General Motors, in even a great year—when it isn't losing money—earns only 3% on total revenue. This is indicative of the lousy economics inherent in the supercompetitive auto industry.

A simple rule (and there are exceptions) is that if a company is showing a net earnings history of more than 20% on total revenues, there is a real good chance that it is benefiting from some kind of long-term competitive advantage. Likewise, if a company is consistently showing net earnings under 10% on total revenues it is—more likely than not—in a highly competitive business in which no one company holds a durable competitive advantage. This of course leaves an enormous gray area of companies that earn between 10% and 20% on total revenue, which is just packed with businesses ripe for mining long-term investment gold that no one has yet discovered.

One of the exceptions to this rule is banks and financial companies, where an abnormally high ratio of net earnings to total revenues usually means a slacking-off in the risk management department. While the numbers look enticing, they actually indicate an acceptance of greater risk for easier money, which in the game of lending money is usually a recipe for making quick money at the cost of long-term disaster. And having financial disasters is not how one gets rich.

CHAPTER 20

Per-Share Earnings: How Warren Tells the Winners from the Losers

Per-share earnings are the net earnings of the company on a per-share basis for the time period in question. This is a big number in the world of investing because, as a rule, the more a company earns per share the higher its stock price is. To determine the company's per-share earnings we take the amount of net income the company earned and divide it by the number of shares it has outstanding. As an example: If a company had net earnings of $10 million for the year, and it has one million shares outstanding, it would have per-share earnings for the year of $10 a share.

While no one yearly per-share figure can be used to identify a company with a durable competitive advantage, a per-share earnings figure for a ten-year period can give us a very clear picture of whether the company has a long-term competitive advantage working in its favor. What Warren looks for is

a per-share earning picture over a ten-year period that shows consistency and an upward trend.

Something that looks like this:

08	$2.95
07	$2.68
06	$2.37
05	$2.17
04	$2.06
03	$1.95
02	$1.65
01	$1.60
00	$1.48
99	$1.30
98	$1.42

This shows Warren that the company has consistent earnings with a long-term upward trend—an excellent sign that the company in question has some kind of long-term competitive advantage working in its favor. Consistent earnings are usually a sign that the company is selling a product or mix of products that don't need to go through the expensive process of change. The upward trend in earnings means that the company's economics are strong enough to allow it either to make the expenditures to increase market share through advertising or expansion, or to use financial engineering like stock buybacks.

• • •

The companies that Warren stays away from have an erratic earnings picture that looks like this:

08	$2.50
07	$(0.45) loss
06	$3.89
05	$(6.05) loss
04	$6.39
03	$5.03
02	$3.35
01	$1.77
00	$6.68
99	$8.53
98	$5.24

This shows a downward trend, punctuated by losses, which tells Warren that this company is in a fiercely competitive industry prone to booms and busts. The booms show up when demand is greater than supply, but when demand is great, the company increases production to meet demand, which increases costs and eventually leads to an excess of supply in the industry. Excess leads to falling prices, which means that the company loses money until the next boom comes along. There are thousands of companies like this, and the wild price swings in shares, caused by each company's erratic earnings, create the illusion of buying opportunities for traditional value investors. But what they are really buying is a long, slow boat ride to investor nowhere.



BALANCE SHEET

"One of the things you will find—which is interesting and people don't think of it enough—with most businesses and with most individuals, is life tends to snap you at your weakest link. The two biggest weak links in my experience: I've seen more people fail because of liquor and leverage—leverage being borrowed money."

—Warren Buffett

CHAPTER 21

Balance Sheet in General

One of the first things Warren does when he is trying to figure out if a company has a durable competitive advantage or not is to go and see how much the company has in assets—think cash and property—and how much money it owes to vendors, the banks, and the bondholders. To do this, he looks at the company's balance sheet.

Balance sheets, unlike income statements, are only for a set date. There is no such thing as a balance sheet for the year or quarter. We can create a balance sheet for any day of the year, but it will only be for that specific date. A company's accounting department will generate a balance sheet at the end of each fiscal quarter. Think of it as a snapshot of the company's financial condition on the particular date that the balance sheet is generated.

Now a balance sheet is broken into two parts: The first part is all the assets, and there are many different kinds of assets. They include cash, receivables, inventory, property, plant, and equipment.

The second part of the balance sheet is liabilities and shareholder equity.

Under liabilities we find two different categories of liabilities: Current Liabilities and Long-Term Liabilities. "Current liabilities" means the money that is owed within the year, which includes Cash and Short-Term Investments, Total Inventory, Total Receivables, and Prepaid Expenses.

Long-term liabilities are those that come due in one year or more, and include the money owed to the vendors that sold us goods, unpaid taxes, bank loans, and bond loans.

Warren, in his search for companies with a durable competitive advantage, is looking for certain things in each category of assets and liabilities, which we will get to a little later on in the book.

Now if we take all the assets and subtract all the liabilities, we will get the net worth of the business, which is the same as shareholders' equity. As an example: If the business had assets worth $100K and liabilities of $25K, then the business would have a net worth or shareholders' equity of $75K. But if the business had assets worth $100K and liabilities of $175K, the business would have negative net worth, or negative shareholders' equity, of $75K.

Assets minus Liabilities = Net Worth or Shareholders' Equity

Okay, that is the end of the balance sheet primer, so let's jump in and see how Warren uses the balance sheet and all of

its subcategories to identify a company that has a durable competitive advantage over its competitors.

Balance Sheet

($ in millions)

Assets	
Cash & Short-Term Investments	$4,208
Total Inventory	2,220
Total Receivables, Net	3,317
Prepaid Expenses	2,260
Other Current Assets, Total	0
Total Current Assets	12,005
Property/Plant/Equipment	8,493
Goodwill, Net	4,246
Intangibles, Net	7,863
Long-Term Investments	7,777
Other Long-Term Assets	2,675
Other Assets	0
Total Assets	$43,059

Liabilities	
Accounts Payable	$1,380
Accrued Expenses	5,535
Short-Term Debt	5,919
Long-Term Debt Due	133
Other Current Liabilities	258
Total Current Liabilities	13,225
Long-Term Debt	3,277
Deferred Income Tax	1,890
Minority Interest	0
Other Liabilities	3,133
Total Liabilities	21,525
Shareholders' Equity	
Preferred Stock	0
Common Stock	880
Additional Paid in Capital	7,378
Retained Earnings	36,235
Treasury Stock—Common	−23,375
Other Equity	626
Total Shareholders' Equity	21,744
Total Liabilities & Shareholders' Equity	$43,269

CHAPTER 22

ASSETS

Balance Sheet/Assets	
($ in millions)	
Cash & Short-Term Investments	$4,208
Total Inventory	2,220
Total Receivables, Net	3,317
Prepaid Expenses	2,260
Other Current Assets, Total	0
Total Current Assets	12,005
Property/Plant/Equipment	8,493
Goodwill, Net	4,246
Intangibles, Net	7,863
Long-Term Investments	7,777
Other Long-Term Assets	2,675
Other Assets	0
Total Assets	$43,059

This is where all the goodies are kept: the cash, the plant and equipment, the patents, and all the stuff that riches are made of. They are found on the company's balance sheet under the heading Assets.

On the balance sheet, accounting types long ago divided Corporate Assets into two distinct groups: Current Assets, and All Other Assets.

Current Assets is made up of "cash and cash equivalents," "short-term investments," "net receivables," "inventory," and a general slush fund called "other assets." These are called current assets because they are cash, or they can be or will be converted into cash in a very short period of time (usually within a year). As a rule, they are listed on the balance sheet in order of their liquidity (which means how quickly they can be turned into cash). Historically, current assets have also been called quick, liquid, or floating assets. What is important about them is their availability to be turned into cash and spent should the business economics of the enterprise start to erode and other sources of day-to-day operating capital start to evaporate. (If you can't imagine sources of operating capital evaporating overnight, just think Bear Stearns.)

All other assets are those that aren't current, which means that they will not or cannot be converted into cash in the year ahead; they are listed in a separate category immediately under

Current Assets. In this category go Long-Term Investments, Property Plant and Equipment, Goodwill, Intangible Assets, Accumulated Amortization, Other Assets, and Deferred Long-Term Asset Charges.

Collectively these two groups of assets make up the company's total assets. Individually and collectively, via their quality and quantity, they tell Warren a great many things about the economic character of a business and whether or not it possesses the coveted durable competitive advantage that will make him superrich.

This is why we are going to spend the next couple of chapters discussing the individual asset classes and how Warren uses them to identify a company with the durable competitive advantage.

So let's take a look at the categories and see how we can use them individually and collectively to help us identify the exceptional business with a long-term competitive advantage working in its favor.

CHAPTER 23

Current Asset Cycle: How the Money Is Made

Balance Sheet/Assets	
($ in millions)	
→ Cash & Short-Term Investments	$4,208
→ Total Inventory	2,220
→ Total Receivables, Net	3,317
Prepaid Expenses	2,260
Other Current Assets, Total	0
Total Current Assets	$12,005

Current assets are also referred to as the "working assets" of the business because they are in the cycle of cash going to buy inventory; Inventory is then sold to vendors and becomes Accounts Receivable. Accounts Receivable, when collected

from the vendors, then turns back into Cash. Cash → Inventory → Accounts Receivable → Cash. This cycle repeats itself over and over again, and it is how a business makes money.

The different elements of the current asset cycle can tell Warren a great deal about the economic nature of the business and whether or not it has a durable competitive advantage in the marketplace.

CHAPTER 24

Cash and Cash Equivalents: Warren's Pile of Loot

Balance Sheet/Assets	
($ in millions)	
→ Cash & Short-Term Investments	$4,208
→ Total Inventory	2,220
→ Total Receivables, Net	3,317
Prepaid Expenses	2,260
Other Current Assets, Total	0
Total Current Assets	$12,005

One of the first things Warren does is to look at the assets to see how much cash and cash equivalents a company has. This asset is exactly what it says it is—cash—or it is the equivalent of cash, such as a short-term CD at the bank, three-

month Treasuries, or other highly liquid assets. A high number for cash or cash equivalents tells Warren one of two things—that a company has a competitive advantage that is generating tons of cash, which is a good thing, or that it has just sold a business or a ton of bonds, which may not be a good thing. A low amount or the lack of a stockpile of cash usually means that the company has poor or mediocre economics. To figure out which is which, let's look a little deeper at the asset of cash.

Companies traditionally keep a hoard of cash to support business operations. Think of it as a very large checkbook. But if we are earning more than we are spending, the cash starts to pile up and that creates the investment problem of what to do with all the excess cash. Which is a lovely problem to have.

Since cash earns a low rate of return in a bank account or CD, it is better to employ the cash assets in business operations or investments that produce a higher rate of return. What do you want to own? A short-term CD that is earning 4% on your invested money, or an apartment house that will earn you 20% on your investment? You take the apartment house. The same thing goes on in a business. The money comes in the door, and if it comes in faster than operating costs can spend it, it starts to pile up; as it piles up, the company has to decide what to do with it. Traditionally, companies have used excess cash to expand operations, buy entirely new businesses, invest in partially owned businesses via the stock mar-

ket, buy back their shares, or pay out a cash dividend to shareholders. But quite often they simply sock it away for a rainy day. One can never be too financially prepared in our constantly changing and challenging world.

A company basically has three ways of creating a large stockpile of cash. It can sell new bonds or equity to the public, which creates a stockpile of cash before it is put to use. It can also sell an existing business or other assets that the company owns, which can also create a stockpile of cash before the company finds other uses for it. Or it has an ongoing business that generates more cash than the business burns. It is this scenario of a large stockpile of cash created by an ongoing business that really grabs Warren's attention. Because a company that has a surplus of cash as the result of ongoing business is often a company that has some kind of durable competitive advantage working in its favor.

When Warren is looking at a company that is suffering a short-term business problem, and causing shortsighted Wall Street to bear down on the company's shares, Warren will look at the cash or marketable securities that the company has hoarded away to give him an idea whether it has the financial strength to weather the troubles it has gotten itself into.

So here is the rule: If we see a lot of cash and marketable securities and little or no debt, chances are very good that the business will sail on through the troubled times. But if the company is hurting for cash and is sitting on a mountain of

debt, it probably is a sinking ship that not even the most skilled manager can save.

A simple test to see exactly what is creating all the cash is to look at the past seven years of balance sheets. This will reveal whether the cash hoard was created by a one-time event, such as the sale of new bonds or shares, or the sale of an asset or an existing business, or whether it was created by ongoing business operations. If we see lots of debt, we probably aren't dealing with an exceptional business. But if we see a ton of cash piling up and little or no debt, and no sales of new shares or assets, and we also note a history of consistent earnings, we're probably seeing an excellent business with the durable competitive advantage that Warren is searching for—the kind of company that will make us rich over the long-term.

Lest we forget, cash is king when troubled times hit, so if we have it when our competitors don't, we get to rule.

And getting to rule is all that it is cracked up to be.

CHAPTER 25

Inventory: What the Company Needs to Buy and What the Company Needs to Sell

Balance Sheet/Assets	
($ in millions)	
Cash & Short-Term Investments	$4,208
→ Total Inventory	2,220
Total Receivables, Net	3,317
Prepaid Expenses	2,260
Other Current Assets, Total	0
Total Current Assets	$12,005

Inventory is the company's products that it has warehoused to sell to its vendors. Since a balance sheet is always for a specific day, the amount found on the balance sheet for inventory is the value of the company's inventory for that date.

With a lot of businesses, there is a risk of inventory becoming obsolete. But as we have discussed earlier, manufacturing companies with a durable competitive advantage have an advantage, in that the products they sell never change and therefore never become obsolete. This is an advantage Warren wants to see.

When trying to identify a manufacturing company with a durable competitive advantage, look for an inventory and net earnings that are on a corresponding rise. This indicates that the company is finding profitable ways to increase sales, and that increase in sales has called for an increase in inventory, so the company can fulfill orders on time.

Manufacturing companies with inventories that rapidly ramp up for a few years and then, just as rapidly, ramp down, are more likely than not companies caught in highly competitive industries subject to booms and busts. And no one ever got rich going bust.

CHAPTER 26

Net Receivables: Money Owed to the Company

Balance Sheet/Assets	
($ in millions)	
Cash & Short-Term Investments	$4,208
Total Inventory	2,220
→ Total Receivables, Net	3,317
Prepaid Expenses	2,260
Other Current Assets, Total	0
Total Current Assets	$12,005

When a company sells its products to a purchaser, it does so on the basis of either cash up front or payment due thirty days after the purchaser receives the goods. In some businesses the cash isn't due for even longer periods. Sales in this state of limbo, where the cash is due, are called receivables. This is

money that is owed the company. Since a certain percentage of purchasers that were sold goods will not pay, an estimated amount for bad debts is deducted from the Receivables, which gives us Net Receivables.

Receivables less Bad Debts equals Net Receivables.

Net Receivables as a stand-alone number tells us very little about the company's long-term competitive advantage. However, it does tell us a great deal about different companies within the same industry. In very competitive industries, some companies will attempt to gain an advantage by offering better payment terms—instead of 30 days, they may give vendors 120 days. This will cause an increase in sales and an increase in receivables.

If a company is consistently showing a lower percentage of Net Receivables to Gross Sales than its competitors, it usually has some kind of competitive advantage working in its favor that the others don't have.

CHAPTER 27

Prepaid Expenses/Other Current Assets

Balance Sheet/Assets	
($ in millions)	
Cash & Short-Term Investments	$4,208
Total Inventory	2,220
Total Receivables, Net	3,317
→ Prepaid Expenses	2,260
→ Other Current Assets, Total	0
Total Current Assets	$12,005

Businesses sometimes pay for goods and services that they will receive in the near future, although they have not yet taken possession of the goods or received the benefits of the service. Even though the goods or services have not been

received, they are paid for, so they are assets of the business. They are noted as current assets in the account for prepaid expenses. Insurance premiums for the year ahead, which are paid in advance, would be one such prepaid expense. Prepaid expenses offer us little information about the nature of the business, or about whether it is benefiting from having a durable competitive advantage.

Other current assets are non-cash assets that are due within the year but are not as yet in the company's hands. These include such things as deferred income tax recoveries, which are due within the year, but aren't cash in hand just yet.

CHAPTER 28

Total Current Assets and the Current Ratio

Balance Sheet/Assets	
($ in millions)	
Cash & Short-Term Investments	$4,208
Total Inventory	2,220
Total Receivables, Net	3,317
Prepaid Expenses	2,260
Other Current Assets, Total	0
→ Total Current Assets	$12,005

Total Current Assets is a number that has long played an important role in financial analysis. Analysts have traditionally argued that subtracting a company's current liabilities from its current assets gives them an idea whether the com-

pany can meet its short-term debt obligations. They developed the current ratio, which is derived by dividing current assets by current liabilities; the higher the ratio is, the more liquid the company. A current ratio of over one is considered good, and anything below one bad. If it is below one, it is believed that the company may have a hard time meeting its short-term obligations to its creditors.

The funny thing about a lot of companies with a durable competitive advantage is that quite often their current ratio is below the magical one. Moody's comes in at .64, Coca-Cola at .95, Procter & Gamble at .82, and Anheuser-Busch at .88. Which, from an old-school perspective, means that these companies might have difficulties paying current liabilities. What is really happening is that their earning power is so strong they can easily cover their current liabilities. Also, as a result of their tremendous earning power, these companies have no problem tapping into the cheap, short-term commercial paper market if they need any additional short-term cash.

Because of their great earning power, they can also pay out generous dividends and make stock repurchases, both of which diminish cash reserves and help pull their current ratios below one. But it is the consistency of their earning power, which comes with having a durable competitive advantage, that ensures they can cover their current liabilities and not fall prey to the vicissitudes of business cycles and recessions.

In short, there are many companies with a durable competitive advantage that have current ratios less than one. Such companies create an anomaly that renders the current ratio almost useless in helping us identify whether or not a company has a durable competitive advantage.

CHAPTER 29

Property, Plant, and Equipment: For Warren Not Having Them Can Be a Good Thing

Balance Sheet/Assets	
($ in millions)	
Total Current Assets	$12,005
→ Property/Plant/Equipment	8,493
Goodwill, Net	4,246
Intangibles, Net	7,863
Long-Term Investments	7,777
Other Long-Term Assets	2,675
Other Assets	0
Total Assets	$43,059

A company's property, its manufacturing plant and equipment, and their collective value are carried on the balance

sheet as an asset. They are carried at their original cost, less accumulated depreciation. Depreciation is what occurs as the plant and equipment wear out little by little; every year, a charge is taken against the plant and equipment.

Companies that don't have a long-term competitive advantage are faced with constant competition, which means they constantly have to update their manufacturing facilities to try to stay competitive, often before such equipment is worn out. This, of course, creates an ongoing expense that is often quite substantial, and keeps adding to the amount of plant and equipment the company lists on its balance sheet.

A company that has a durable competitive advantage doesn't need to constantly upgrade its plant and equipment to stay competitive. Take the brand name gum manufacturer Wrigley. It builds a plant that makes chewing gum, and it doesn't have to update the plant and equipment until they wear out.

So the company that has a durable competitive advantage replaces its plant and equipment as they wear out, while the company that doesn't have a durable competitive advantage has to replace its plant and equipment to keep pace with the competition.

A company with a durable competitive advantage will be able to finance any new plants and equipment internally. But a company that doesn't have a competitive advantage will be forced to turn to debt to finance its constant need to retool its plants to keep up with the competition.

We see this when we take a company with a long-term competitive advantage like Wrigley, which has plant and equipment worth $1.4 billion, carries $1 billion in debt, and earns in the neighborhood of $500 million per year. Compare Wrigley with a company without a durable competitive advantage, like GM, which has plant and equipment valued at $56 billion, carries $40 billion in debt, and has lost money for the last two years.

Chewing gum is not a product that changes much, and Wrigley's brand name ensures a competitive advantage over its rivals. But GM must compete head-on with every car manufacturer on the planet, and its product mix constantly has to be upgraded and redesigned to stay ahead of the competition. This means that GM's plants have to regularly be retooled to produce the new products.

Making chewing gum is a much better and a far more profitable business for shareholders than making cars. Consider this: $100,000 invested in Wrigley back in 1990 would be worth approximately $547,000 in 2008. But $100,000 invested in GM back in 1990 would be worth approximately $97,000 in 2008. This equates to a difference of $460,000 in Wrigley's shareholders' favor. They have happily chewed their way to riches, while GM's shareholders have watched their fortunes drive off a cliff.

As Warren says, producing a consistent product that doesn't have to change equates to consistent profits. The con-

sistent product means there is no need to spend tons of money upgrading the plant and equipment just to stay competitive, which frees up tons of money for other money-making ventures. To get rich, we first have to make money, and it helps if we make lots of money. One of the ways to make lots of money is not having to spend a ton of money keeping up with the Joneses.

CHAPTER 30

GOODWILL

Balance Sheet/Assets	
($ in millions)	
Total Current Assets	$12,005
Property/Plant/Equipment	8,493
→ Goodwill, Net	4,246
Intangibles, Net	7,863
Long-Term Investments	7,777
Other Long-Term Assets	2,675
Total Assets	$43,059

When Exxon buys XYZ oil company and Exxon pays a price in excess of XYZ's book value, the excess is recorded on Exxon's balance sheet under the heading of Goodwill. Buy a lot of companies for a price in excess of their book

value, and we end up with a lot of goodwill on our balance sheet.

Goodwill used to be written off against the earnings of the business through a process of amortization, which caused a yearly charge against earnings on the income statement under the title of amortization of goodwill. In the modern age, the FASB (Financial Accounting Standards Board) decided that goodwill wouldn't have to be amortized unless the company that the goodwill was attached to was actually depreciating in value.

Whenever we see an increase in goodwill of a company over a number of years, we can assume that it is because the company is out buying other businesses. This can be a good thing if the company is buying businesses that also have a durable competitive advantage. If the goodwill account stays the same year after year, that is because either the company is paying under book value for a business or the company isn't making any acquisitions.

Businesses that benefit from some kind of durable competitive advantage almost never sell for below their book value. We say almost never, but occasionally it does happen, and when it does, it can be the buying opportunity of a lifetime.

CHAPTER 31

Intangible Assets: Measuring the Unmeasurable

Balance Sheet/Assets	
($ in millions)	
Total Current Assets	$12,005
Property/Plant/Equipment	8,493
Goodwill, Net	4,246
→ Intangibles, Net	7,863
Long-Term Investments	7,777
Other Long-Term Assets	2,675
Total Assets	$43,059

Intangible assets are assets we can't physically touch; these include patents, copyrights, trademarks, franchises, brand names, and the like. A long time ago, a company could slap on

to its intangibles any old valuation it thought it could get away with. Which made for some very interesting valuations and many abuses. In the current era, companies are not allowed to carry internally developed intangible assets on their balance sheets. That's put an end to watering the balance sheet with fantasy valuations for intangible assets.

However, intangible assets that are acquired from a third party are carried on the balance sheet at their fair value. If an asset has a finite life—as a patent does—it is amortized over the course of its useful life with a yearly charge made to the income statement and the balance sheet.

An odd thing occurs with companies that benefit from a durable competitive advantage. Take the Coca-Cola Company for an example. Coke's brand name is worth in excess of $100 billion, yet because it is an internally developed brand name, its real value as an intangible asset is not reflected on Coca-Cola's balance sheet. The same thing applies to Wrigley, Pepsi Co., McDonald's, and even Wal-Mart. Each of these companies benefits from having durable competitive advantage tied directly to its name; yet the value of their greatest asset, their name, isn't recognized on their balance sheets.

This is one of the reasons that the durable competitive advantage's power to increase shareholders' wealth has remained hidden from investors for so long. Short of comparing ten years' worth of income statements, investors have had no way of knowing it was there, or knowing of its potential

for making them superrich. This is how Warren was able to take large positions in such visible companies, like Coca-Cola, with the whole world watching. Yet the whole world had no clue why he was doing it. Coke was too pricey to make any sense to the value investors that followed Graham, and its price wasn't volatile enough to be interesting to Wall Street traders. What Warren could see, that no one else could, was Coke's durable competitive advantage and the long-term earning power that came with it. Earning power that, over time, would help make him the richest man in the world.

CHAPTER 32

Long-Term Investments: One of the Secrets to Warren's Success

Balance Sheet/Assets	
($ in millions)	
Total Current Assets	$12,005
Property/Plant/Equipment	8,493
Goodwill, Net	4,246
Intangibles, Net	7,863
→ Long-Term Investments	7,777
Other Long-Term Assets	2,675
Total Assets	$43,059

This is an asset account on a company's balance sheet, where the value of long-term investments (longer than a year),

such as stocks, bonds, and real estate is recorded. This account includes investments in the company's affiliates and subsidiaries. What is interesting about the long-term investment account is that this asset class is carried on the books at their cost or market price, whichever is lower. But it cannot be marked to a price above cost even if the investments have appreciated in value. This means that a company can have a very valuable asset that it is carrying on its books at a valuation considerably below its market price.

A company's long-term investments can tell us a lot about the investment mind-set of top management. Do they invest in other businesses that have durable competitive advantages, or do they invest in businesses that are in highly competitive markets? Sometimes we see the management of a wonderful business making huge investments in mediocre businesses for no other reason than they think big is better. Sometimes we see some enlightened manager of a mediocre business making investments in companies that have a durable competitive advantage. This is how Warren built his holding company Berkshire Hathaway into the empire that it is today. Berkshire was once-upon-a-time a mediocre business in the highly competitive textile industry. Warren bought a controlling interest, stopped paying the dividend so cash would accumulate, and then took the company's working capital and went and bought an insurance company. Then he took the assets of the

insurance company and went on a forty-year shopping spree for companies with a durable competitive advantage.

Kiss even a frog of a business enough times with a durable competitive advantage and it will turn into a prince of a business.

Or, as in Warren's case, $60 billion, which is what his stock in Berkshire is now worth.

CHAPTER 33

Other Long-Term Assets

Balance Sheet/Assets	
($ in millions)	
Total Current Assets	$12,005
Property/Plant/Equipment	8,493
Goodwill, Net	4,246
Intangibles, Net	7,863
Long-Term Investments	7,777
→ Other Long-Term Assets	2,675
Total Assets	$43,059

Think of "other long-term assets" as a giant pool of long-term assets—assets that have useful lives of greater than a year—that didn't make it into the categories of Property and Equipment, Goodwill, Intangibles, and Long-Term Invest-

ments. An example of Other Long-Term Assets would be prepaid expenses and tax recoveries that are due to be received in the coming years.

There is little that Other Long-Term Assets can tell us about whether or not the company in question has a durable competitive advantage. So let's move on.

CHAPTER 34

Total Assets and the Return on Total Assets

Balance Sheet/Assets	
($ in millions)	
Total Current Assets	$12,005
Property/Plant/Equipment	8,493
Goodwill, Net	4,246
Intangibles, Net	7,863
Long-Term Investments	7,777
Other Long-Term Assets	2,675
→ Total Assets	$43,059

Add current assets to long-term assets, and we get the company's total assets. Its total assets will match its total liabilities, plus shareholders' equity. They balance with each other, which is why it is called a balance sheet.

Total assets are important in determining just how efficient the company is in putting its assets to use. To measure the company's efficiency, analysts have come up with the return on asset ratio, which is found by dividing net earnings by total assets.

Capital, however, always presents a barrier to entry into any industry, and one of the things that helps make a company's competitive advantage durable is the cost of the assets one needs to get into the game. Coca-Cola has $43 billion in assets and a return on assets of 12%; Procter & Gamble has $143 billion in assets and a return on assets of 7%; and Altria Group, Inc., has $52 billion in assets and a return on assets of 24%. But a company like Moody's, which has $1.7 billion in assets, shows a 43% return on assets.

While many analysts argue that the higher the return on assets the better, Warren has discovered that really high returns on assets may indicate vulnerability in the durability of the company's competitive advantage. Raising $43 billion to take on Coca-Cola is an impossible task—it's not going to happen. But raising $1.7 billion to take on Moody's is within the realm of possibility. While Moody's underlying economics is far superior to Coca-Cola's, the durability of Moody's competitive advantage is far weaker because of the lower cost of entry into its business.

The lesson here is that sometimes more can actually mean less over the long-term.

CHAPTER 35

Current Liabilities

Balance Sheet/Liabilities	
($ in millions)	
Accounts Payable	$1,380
Accrued Expenses	5,535
Short-Term Debt	5,919
Long-Term Debt Due	133
Other Current Liabilities	258
Total Current Liabilities	$13,225

Current liabilities are the debts and obligations that the company owes that are coming due within the fiscal year. They are found on the balance sheet under the headings of Accounts Payable, Accrued Expenses, Short-Term Debt, Long-Term Debt Coming Due, and Other Current Liabilities. Let's take a look at them and see what they can tell us about whether or not a company has a durable competitive advantage over its competitors.

CHAPTER 36

Accounts Payable, Accrued Expenses, and Other Current Liabilities

Balance Sheet/Liabilities	
($ in millions)	
→ Accounts Payable	$1,380
→ Accrued Expenses	5,535
Short-Term Debt	5,919
Long-Term Debt Due	133
→ Other Current Liabilities	258
Total Current Liabilities	$13,225

Accounts payable is money owed to suppliers that have provided goods and services to the company on credit. We order 1,000 pounds of coffee, and they send it to us along with a bill/invoice. The bill/invoice for the 1,000 pounds of coffee is an account payable.

Accrued expenses are liabilities that the company has

incurred, but has yet to be invoiced for. These expenses include sales tax payable, wages payable, and accrued rent payable. We hire someone and tell him that we will pay him at the end of the month; each day that he works 'til the end of the month is booked as an accrued expense.

Other debts is a slush fund for all short-term debts that didn't qualify to be included in any of the above categories.

Accounts Payable, Accrued Expenses, and Other Debts can tell us a lot about the current situation of a business, but as stand-alone entries they tell us little about the long-term economic nature of the business and whether or not it has a durable competitive advantage. However, the amount of short- and long-term debt that a company carries can tell a great deal about the long-term economics of a business and whether or not it has a durable competitive advantage.

CHAPTER 37

Short-Term Debt: How It Can Kill a Financial Institution

Balance Sheet/Liabilities	
($ in millions)	
Accounts Payable	$1,380
Accrued Expenses	5,535
→ Short-Term Debt	5,919
Long-Term Debt Due	133
Other Current Liabilities	258
Total Current Liabilities	$13,225

Short-term debt is money that is owed by the corporation and due within the year. This includes commercial paper and short-term bank loans. Short-term money historically has been cheaper than long-term money. This means that it is possible

to make money borrowing short-term and lending it long-term. We borrow short-term money at 5% and lend it long-term for 7%—sounds easy enough. But the problem with this strategy is that the money we borrowed is short-term money. That means that we have to pay it back within the year, which is easy enough to do—we just borrow more money short-term to pay back the short-term debt that is coming due. In the financial world, this is called "rolling over the debt." And it all works well until short-term rates jump above what we lent the money long at, which was 7%. Sure, it seemed like a great idea when short-term rates were 5%, but now that they have jumped to 8%, we have to refinance our short-term debt at a rate in excess of what we loaned it out at. And that does not make us happy.

Another part of the short-term borrowing disaster equation is what happens if we lend all this money long-term, but our creditors decide not to loan us any more money short-term. Suddenly we have to pay back all that money we borrowed short-term and lent long-term. But we don't have it, because we lent it long-term, which means that we won't get paid back for many, many years.

This is what happened to Bear Stearns: They borrowed short-term and bought mortgage-backed securities, using the mortgage-backed securities as collateral for the short-term loans. But one day their creditors woke up and said, "We don't think the collateral is worth what you guys told us it was

worth, so we don't want to lend you any more money and we want to collect the money we did loan you." Not a good position for Bear Stearns to be in.

The smartest and safest way to make money in banking is to borrow it long-term and lend it long-term. That's why banks are always trying to lock us into those five- and ten-year CDs. It is not the fast and easy money of borrowing short-term and lending it long, but it is a saner and far more conservative way to make money. Which is what we want in a bank and a banker—sanity.

When it comes to investing in financial institutions Warren has always shied away from companies that are bigger borrowers of short-term money than of long-term money. Warren's favorite, Wells Fargo, has 57 cents of short-term debt for every dollar of long-term debt. But an aggressive bank, like Bank of America N.A., has $2.09 of short-term debt for every dollar of long-term debt. And while being aggressive can mean making lots of money over the short-term, it has often led to financial disasters over the long-term. And one never gets rich being on the downside of a financial disaster.

In troubled financial times it is the stable conservative banks like Wells Fargo that have the competitive advantage over the go-go aggressive banks that have gotten themselves into trouble. The "durability" equates with the stability that comes with being conservative. It has money when the others have losses, which creates opportunity. Aggressive borrowers

of short-term money are often at the mercy of sudden shifts in the credit markets, which puts their entire operation at risk and equates with a loss of any kind of durability in their business model. And in the business world durability of a competitive advantage is a lot like virginity—easier to protect than it is to get back.

CHAPTER 38

Long-Term Debt Coming Due and the Troubles It Can Cause

Balance Sheet/Liabilities	
($ in millions)	
Accounts Payable	$1,380
Accrued Expenses	5,535
Short-Term Debt	5,919
→ Long-Term Debt Due	133
Other Current Liabilities	258
Total Current Liabilities	$13,225

This chapter concerns long-term debt that is coming due and has to be paid off in the current year. Long-term debt is not a yearly current liability for most businesses. However, a few very large corporations do have some portion of their long-term debt coming due on a yearly basis. Where it can cre-

ate problems is when some companies lump it in with short-term debt on the balance sheet, which creates the illusion that the company has more short-term debt than it really does.

As a rule, companies with a durable competitive advantage require little or no long-term debt to maintain their business operations, and therefore have little or no long-term debt ever coming due. So if we are dealing with a company that has a lot of long-term debt coming due, we probably aren't dealing with a company that has a long-term competitive advantage.

Any time we are buying into a company that has a durable competitive advantage but has been going through troubled times due to a one-time solvable event—like a subsidiary in a different business bleeding cash—it is best to check the horizon and see how much of the company's long-term debt is due in the years ahead. Too much debt coming due in a single year can spook investors, which will give us a lower price to buy in at.

With a mediocre company that is experiencing serious problems, too much debt coming due in a current year can lead to cash flow problems and certain bankruptcy, which is also certain death to our investment.

And having dying investments is not how we get rich.

CHAPTER 39

Total Current Liabilities and the Current Ratio

Balance Sheet/Liabilities	
($ in millions)	
Accounts Payable	$1,380
Accrued Expenses	5,535
Short-Term Debt	5,919
Long-Term Debt Due	133
Other Current Liabilities	258
→ Total Current Liabilities	$13,225

By dividing Total Current Assets by Total Current Liabilities, one can determine the liquidity of the company—the higher the current ratio, the more liquid the company is, and the greater its ability to pay current liabilities when they come due. A current ratio of over one is considered good, and anything below one, bad. If it is below one, it is thought that the

company might have a hard time meeting its short-term obligations to its creditors. But, as we discussed in Chapter 28, companies with a durable competitive advantage often have current ratios under one. What causes this anomaly is the immense earning power the durable competitive advantage creates. In short, you have a current economic picture that doesn't require the "liquidity cushion" that a company with poorer economics needs. (For a more in-depth discussion, please refer back to Chapter 28.) While the current ratio is of great importance in determining the liquidity of a marginal-to-average business, it is of little use in telling us whether or not a company has a durable competitive advantage.

company might have a hard time meeting its short-term obligations to its creditors. But, as we discussed in Chapter 28, companies with a durable competitive advantage often have current ratios under one. What causes this anomaly is the immense earning power the durable competitive advantage creates. In short, you have a current economic picture that doesn't require the "liquidity cushion" that a company with poorer economics needs. (For a more in-depth discussion, please refer back to Chapter 28.) While the current ratio is of great importance in determining the liquidity of a marginal-to-average business, it is of little use in telling us whether or not a company has a durable competitive advantage.

CHAPTER 40

Long-Term Debt: Something That Great Companies Don't Have a Lot Of

Balance Sheet/Liabilities	
($ in millions)	
Total Current Liabilities	$13,225
→ Long-Term Debt	3,277
Deferred Income Tax	1,890
Minority Interest	0
Other Liabilities	3,133
Total Liabilities	$21,525

Long-term debt means debt that matures any time out past a year. On the balance sheet it comes under the heading of long-term liabilities. If the debt comes due within the year, it is short-term debt and is placed with the company's current

liabilities. In Warren's search for the excellent business with a long-term competitive advantage, the amount of long-term debt a company carries on its books tells him a lot about the economic nature of the business.

Warren has learned that companies that have a durable competitive advantage often carry little or no long-term debt on their balance sheets. This is because these companies are so profitable that they are self-financing when they need to expand the business or make acquisitions, so there is never a need to borrow large sums of money.

One of the ways to help us identify the exceptional business, then, is to check how much long-term debt it is carrying on its balance sheet. We are not just interested in the current year; we want to look at the long-term debt load that the company has been carrying for the last ten years. If there have been ten years of operations with little or no long-term debt on the company's balance sheet it is a good bet that the company has some kind of strong competitive advantage working in its favor.

Warren's historic purchases indicate that on any given year the company should have sufficient yearly net earnings to pay off all of its long-term debt within a three- or four-year earnings period. Long-term competitive advantage holders Coca-Cola and Moody's could pay off all their long-term debt in a single year; and Wrigley and The Washington Post companies can do it in two.

But companies like GM or Ford, both in the highly com-

petitive auto industry, could spend every dime of net profit they have earned in the last ten years and still not pay off the massive amount of long-term debt they carry on their balance sheets.

The bottom line here is that companies that have enough earning power to pay off their long-term debt in under three or four years are good candidates in our search for the excellent business with a long-term competitive advantage.

But please note: Because these companies are so profitable and carrying little or no debt, they are often the targets of leveraged buyouts. This is where the buyer borrows huge amounts of money against the cash flow of the company to finance the purchase. After the leveraged buyout the business is then saddled with large amounts of debt. This was the case with the RJR/Nabisco buyout in the late 1980s.

If all else indicates that the business in question is a company with a durable competitive advantage, but it has a ton of debt on its balance sheet, a leveraged buyout may have created the debt. In cases like these the company's bonds are often the better bet, in that the company's earning power will be focused on paying off the debt and not growing the company.

The rule here is simple: Little or No Long-Term Debt Often Means a Good Long-Term Bet.

CHAPTER 41

Deferred Income Tax, Minority Interest, and Other Liabilities

Balance Sheet/Liabilities	
($ in millions)	
Total Current Liabilities	$13, 225
Long-Term Debt	3,277
→ Deferred Income Tax	1,890
→ Minority Interest	0
→ Other Liabilities	3,133
Total Liabilities	$21,525

Deferred Income Tax is tax that is due but hasn't been paid. This figure tells us little about whether or not the company has a durable competitive advantage.

The Minority Interest entry on a balance sheet is far more interesting. When the company acquires the stock of another,

it books the price it paid for the stock as an asset under "long-term investments." But when it acquires more than 80% of the stock of a company, it can shift the acquired company's entire balance sheet onto its balance sheet. The same with the income statement. An example: Berkshire's acquisition of 90% of the Nebraska Furniture Mart. Because it acquired more than 80% of the NFM, Berkshire could book 100% of NFM's income onto Berkshire's income statement, and it could add 100% of NFM's assets and liabilities to its balance sheet. What the Minority Interest entry represents is the value of the 10% of NFM that Berkshire does not own. This shows up as a liability to balance the equation, since Berkshire booked 100% of NFM's assets and liabilities, even though it owns only 90% of NFM. So what does this have to do with identifying a company with a durable competitive advantage? Not much, but it is interesting to know what matters and what doesn't in our search for the company with a durable competitive advantage.

"Other Liabilities" is a catchall category into which businesses pool their miscellaneous debt. It includes such liabilities as judgments against the company, non-current benefits, interest on tax liabilities, unpaid fines, and derivative instruments. None of these helps us in our search for the durable competitive advantage.

CHAPTER 42

Total Liabilities and the Debt to Shareholders' Equity Ratio

Balance Sheet/ Debt to Shareholders' Equity Ratio	
($ in millions)	
Total Current Liabilities	$13, 225
Long-Term Debt	3,277
Deferred Income Tax	1,890
Minority Interest	0
Other Liabilities	3,133
→ Total Liabilities	$21,525

Total liabilities is the sum of all the liabilities of the company. It is an important number that can be used to give us the debt to shareholders' equity ratio, which, with slight modification, can be used to help us identify whether or not a business has a durable competitive advantage.

The debt to shareholders' equity ratio has historically been used to help us identify whether or not a company is using debt to finance its operations or equity (which includes retained earnings). The company with a durable competitive advantage will be using its earning power to finance its operations and therefore, in theory, should show a higher level of shareholders' equity and a lower level of total liabilities. The company without a competitive advantage will be using debt to finance its operations and, therefore, should show just the opposite, a lower level of shareholders' equity and a higher level of total liabilities.

The equation is: Debt to Shareholders' Equity Ratio = Total Liabilities ÷ Shareholders' Equity.

The problem with using the debt to equity ratio as an identifier is that the economics of companies with a durable competitive advantage are so great that they don't need a large amount of equity/retained earnings on their balance sheets to get the job done; in some cases they don't need any. Because of their great earning power they will often spend their built-up equity/retained earnings on buying back their stock, which decreases their equity/retained earnings base. That in turn increases their debt to equity ratio, often to the point that their debt to equity ratio looks like that of a mediocre business—one without a durable competitive advantage.

Moody's, a Warren favorite, is an excellent example of this phenomenon. It has such great economics working in its favor

that it doesn't need to maintain any shareholders' equity. It actually spent all of its shareholders' equity on buying back its shares. It literally has negative shareholders' equity. This means that its debt to shareholders' equity ratio looks more like that of GM—a company without a durable competitive advantage and a negative net worth—than, say, that of Coca-Cola, a company with a durable competitive advantage.

However, if we add back into Moody's shareholders' equity the value of all the treasury stock that Moody has acquired through stock buybacks, then Moody's debt to equity ratio drops down to .63, in line with Coke's treasury share-adjusted ratio of .51. GM still has a negative net worth, even with the addition of the value of its treasury shares, which are nonexistent because GM doesn't have the money to buy back its shares.

It is easy to see the contrast between companies with a durable competitive advantage and those without it when we look at the treasury share-adjusted debt to shareholders' equity ratio. Durable competitive advantage holder Procter & Gamble has an adjusted ratio of .71; Wrigley, meanwhile, has a ratio of .68—which means that for every dollar of shareholders' equity Wrigley has, it also has 68 cents in debt. Contrast P&G and Wrigley with Goodyear Tire, which has an adjusted ratio of 4.35, or Ford, which has an adjusted ratio of 38.0. This means that for every dollar of shareholders' equity that Ford has, it also has $38 in debt—which

equates to $7.2 billion in shareholders' equity and $275 billion in debt.

With financial institutions like banks, the ratios, on average, tend to be much higher than those of their manufacturing cousins. Banks borrow tremendous amounts of money and then loan it all back out, making money on the spread between what they paid for the money and what they can loan it out for. This leads to an enormous amount of liabilities, which are offset by a tremendous amount of assets. On average, the big American money center banks have $10 in liabilities for every dollar of shareholders' equity they keep on their books. This is what Warren means when he says that banks are highly leveraged operations. There are exceptions though and one of them is M&T Bank, a longtime Warren favorite. M&T has a ratio of 7.7, which is reflective of its management's more conservative lending practices.

The simple rule here is that, unless we are looking at a financial institution, any time we see an adjusted debt to shareholders' equity ratio below .80 (the lower the better), there is a good chance that the company in question has the coveted durable competitive advantage we are looking for.

And finding what one is looking for is always a good thing, especially if one is looking to get rich.

CHAPTER 43

Shareholders' Equity/Book Value

Balance Sheet/Shareholders' Equity	
($ in millions)	
Total Liabilities	$21,525
Preferred Stock	0
Common Stock	880
Additional Paid in Capital	7,378
Retained Earnings	36,235
Treasury Stock—Common	−23,375
Other Equity	626
→ Total Shareholders' Equity	21,744
Total Liabilities & Shareholders' Equity	$43,269

When you subtract all your liabilities from all your assets you get your net worth. If you take a company's total assets

and subtract its total liabilities you get the net worth of the company, which is also known as the shareholders' equity or book value of the business. This is the amount of money that the company's owners/shareholders have initially put in and have left in the business to keep it running. Shareholders' Equity is accounted for under the headings of Capital Stock, which includes Preferred and Common Stock; Paid in Capital, and Retained Earnings. Add together Total Liabilities and Total Shareholders' Equity and you get a sum that should equal Total Assets, which is why it is called a balance sheet—both sides balance.

Why Shareholders' Equity is an important number to us is that it allows us to calculate the return on shareholders' equity, which is one of the ways we determine whether or not the company in question has a long-term competitive advantage working in its favor.

Let's check it out.

CHAPTER 44

Preferred and Common Stock: Additional Paid in Capital

Shareholders' Equity	
($ in millions)	
→ Preferred Stock	$0
→ Common Stock	880
→ Additional Paid in Capital	7,378
Retained Earnings	36,235
Treasury Stock—Common	−23,375
Other Equity	626
Total Shareholders' Equity	$21,744

A company can raise new capital by selling bonds or stock (equity) to the public. The money raised by selling bonds has to be paid back at some point in the future. It is borrowed

money. But when the company raises money selling preferred or common stock (which is called "equity") to the public, it never has to be paid back. This money is the company's forever, to do with as it pleases.

Common stock represents ownership in the company. Common stock owners are the owners of the company and have the right to elect a board of directors, which, in turn, will hire a CEO to run the company. Common stockholders receive dividends if the board of directors votes to pay them. And if the entire company is sold, it is the common stockholders who get all the loot.

There is a second class of equity, called preferred stock. Preferred shareholders don't have voting rights, but they do have a right to a fixed or adjustable dividend that must be paid before the common stock owners receive a dividend. Preferred shareholders also have priority over common shareholders in the event that the company falls into bankruptcy.

From a balance sheet perspective preferred and common stocks are carried on the books at their par value, and any money in excess of par that was paid in when the company sold the stock will be carried on the books as "paid in capital." So if the company's preferred stock has a par value of $100/share, and it sold it to the public at $120 a share, a $100-a-share will be carried on the books under preferred stock, and $20 a share will be carried under paid in capital.

The same thing applies to common stock, with, say, a par

value of $1 a share. If it is sold to the public at $10 a share, it will be booked on the balance sheet as $1 a share under common stock and $9 a share under paid in capital.

The odd thing about preferred stock is that companies that have a durable competitive advantage tend not to have any. This is in part because they tend not to have any debt. They make so much money that they are self-financing. And while preferred stock is technically equity, in that the original money received by the company never has to be paid back, it functions like debt in that dividends have to be paid out. But unlike the interest paid on debt, which is deductible from pretax income, the dividends paid on preferred stock are not deductible, which tends to make issuing preferred shares very expensive money. Because it is expensive money, companies like to stay away from it if they can. So one of the markers we look for in our search for a company with a durable competitive advantage is the absence of preferred stock in its capital structure.

CHAPTER 45

Retained Earnings: Warren's Secret for Getting Superrich

Balance Sheet/Shareholders' Equity	
($ in millions)	
Preferred Stock	$0
Common Stock	880
Additional Paid in Capital	7,378
→ Retained Earnings	36,235
Treasury Stock—Common	−23,375
Other Equity	626
Total Shareholders' Equity	$21,744

At the end of the day, a company's net earnings can either be paid out as dividends or used to buy back the company's shares, or they can be retained to keep the business growing. When they are retained in the business, they are added to an

account on the balance sheet, under shareholders' equity, called retained earnings.

If the earnings are retained and profitably put to use, they can greatly improve the long-term economic picture of the business. It was Warren's policy of retaining 100% of Berkshire's net earnings that helped drive its shareholders' equity from $19 a share in 1965 to $78,000 a share in 2007.

To find the yearly net earnings that are going to be added to the company's retained earnings pool, we take the company's after-tax net earnings and deduct the amount that the company paid out in dividends and the expenditures in buying back stock that it had during the year. In 2007 Coca-Cola had after-tax net earnings of $5.9 billion and paid out in dividends and stock buybacks $3.1 billion. This gave the company approximately $2.8 billion in earnings, which were added to the retained earnings pool.

Retained Earnings is an accumulated number, which means that each year's new retained earnings are added to the total of accumulated retained earnings from all prior years. Likewise, if the company loses money, the loss is subtracted from what the company has accumulated in the past. If the company loses more money than it has accumulated, the retained earnings number will show up as negative.

Out of all the numbers on a balance sheet that can help us determine whether the company has a durable competitive advantage, this is one of the most important. It is important

in that if a company is not making additions to its retained earnings, it is not growing its net worth. If it not growing its net worth, it is unlikely to make any of us superrich over the long run.

Simply put, the rate of growth of a company's retained earnings is a good indicator whether or not it is benefiting from having a durable competitive advantage. Let's check out a few of Warren's favorite companies with a durable competitive advantage: Coca-Cola has been growing its retained earnings pool for the last five years at an annual rate of 7.9%, Wrigley at a very chewy 10.9%, Burlington Northern Santa Fe Railway at a smoking 15.6%, Anheuser-Busch at a foamy 6.4%, Wells Fargo at a very bankable 14.2%, and Warren's very own Berkshire Hathaway at an outstanding 23%.

Not all growth in retained earnings is due to an incremental increase in sales of existing products; some of it is due to the acquisitions of other businesses. When two companies merge, their retained earnings pools are joined, which creates an even larger pool. As an example, Procter & Gamble, in 2005, saw its retained earnings jump from $13 billion to $31 billion when it merged with The Gillette Co.

Even more interesting is the fact that both General Motors and Microsoft show negative retained earnings. General Motors shows a negative number because of the poor economics of the auto business, which causes the company to lose billions. Microsoft shows a negative number because it decided

that its economic engine is so powerful that it doesn't need to retain the massive amount of capital it has collected over the years and has instead chosen to spend its accumulated retained earnings and more on stock buybacks and dividend payments to its shareholders.

One of the great secrets of Warren's success with Berkshire Hathaway is that he stopped its dividend payments the day that he took control of the company. This allowed 100% of the company's yearly net earnings to be added into the retained earnings pool. As opportunities showed up, he invested the company's retained earnings in businesses that earned even more money, and that money was all added back into the retained earnings pool and eventually invested in even more money-making operations. As time went on, Berkshire's growing pool of retained earnings increased its ability to make more and more money. From 1965 to 2007, Berkshire's expanding pool of retained earnings helped grow its pretax earnings from $4 a share in 1965 to $13,023 a share in 2007, which equates to an average annual growth rate of approximately 21%.

The theory is simple: the more earnings that a company retains, the faster it grows its retained earnings pool, which, in turn will increase the growth rate for future earnings. The catch is, of course, that it has to keep buying companies that have a durable competitive advantage. Which is exactly what Warren has done with Berkshire Hathaway. Berkshire is like a goose that not only keeps laying golden eggs, but each one of

those golden eggs hatches another goose with the golden touch, and those golden geese lay even more golden eggs. Warren has discovered that if you keep this process going on long enough, eventually you get to start counting your net worth in terms of billions, instead of just millions.

CHAPTER 46

Treasury Stock:* Warren Likes to See This on the Balance Sheet

Balance Sheet/Shareholders' Equity	
($ in millions)	
Preferred Stock	$0
Common Stock	880
Additional Paid in Capital	7,378
Retained Earnings	36,235
→ Treasury Stock—Common	−23,375
Other Equity	626
Total Shareholders' Equity	$21,744

*What is known as treasury stock in the United States is referred to as treasury shares in the United Kingdom.

When a company buys back its own shares, it can do two things with them. It can cancel them or it can retain them with the possibility of reissuing them later on. If it cancels them the shares cease to exist. But if it keeps them, with the possibility of reissuing them later on, they are carried on the balance sheet under shareholders' equity as treasury stock. Shares held as treasury stock have no voting rights, nor do they receive dividends and, though arguably an asset, they are carried on the balance sheet at a negative value because they represent a reduction in the shareholders' equity.

Companies with a durable competitive advantage, because of their great economics, tend to have lots of free cash that they can spend on buying back their shares. Thus one of the hallmarks of a company with a durable competitive advantage is the presence of treasury shares on the balance sheet.

There are a several other financial dynamics to be aware of regarding treasury shares. One is that when a company buys its own shares, and holds them as treasury stock, it is effectively decreasing the company's equity, which increases the company's return on shareholders' equity. Since a high return on shareholders' equity is one sign of a durable competitive advantage, it is good to know if the high returns on equity are being generated by financial engineering or exceptional business economics or because of a combination of the two.

To see which is which, convert the negative value of the treasury shares into a positive number and add it to the shareholders' equity instead of subtracting it. Then divide the company's net earnings by the new total shareholders' equity. This will give us the company's return on equity minus the effects of financial engineering.

Also, in the United States, in determining whether or not the personal holding company tax applies, treasury shares are not part of the pool of the outstanding shares, when it comes to determining control of the company. Unscrupulous types will represent to the IRS that they only own 49% of all outstanding shares. But if they subtract the treasury shares, as the law says they should, they really control in excess of 50%, which gives them control of the business and potentially makes them liable to the personal holding company tax.

Let us leave this chapter with a simple rule: The presence of treasury shares on the balance sheet, and a history of buying back shares, are good indicators that the company in question has a durable competitive advantage working in its favor.

CHAPTER 47

Return on Shareholders' Equity: Part One

Balance Sheet/Shareholders' Equity	
($ in millions)	
Preferred Stock	$0
Common Stock	880
Additional Paid in Capital	7,378
Retained Earnings	36,235
Treasury Stock—Common	−23,375
Other Equity	626
Total Shareholders' Equity	$21,744

Shareholders' equity is equal to the company's total assets minus its total liabilities. That happens to equal the total sums of preferred and common stock, plus paid in capital, plus retained earnings, less treasury stock.

Shareholders' equity has three sources. One is the capital that was originally raised selling preferred and common stock to the public. The second is any later sales of preferred and common stock to the public after the company is up and running. The third, and most important to us, is the accumulation of retained earnings.

Since all equity belongs to the company, and since the company belongs to the common shareholders, the equity really belongs to the common shareholders, which is why it is called shareholders' equity.

Now if we are shareholders in a company, we would be very interested in how good a job management does at allocating our money, so we can earn even more. If they are bad at it we won't be very happy and might even sell our shares and put our money elsewhere. But if they are really good at it we might even buy more of the company, along with everyone else who is impressed with management's ability to profitably put shareholders' equity to good use. To this end, financial analysts developed the return on shareholders' equity equation to test management's efficiency in allocating the shareholders' money. This is an equation that Warren puts great stock in, in his search for the company with a durable competitive advantage, and it is the topic of our next chapter.

CHAPTER 48

Return on Shareholders' Equity: Part Two

Calculation: Net Earnings divided by Shareholders' Equity equals Return on Shareholders' Equity.

What Warren discovered is that companies that benefit from a durable or long-term competitive advantage show higher-than-average returns on shareholders' equity. Warren's favorite, Coca-Cola, shows a return on shareholders' equity of 30%; Wrigley comes in at 24%; Hershey's earns a delicious 33%; and Pepsi measures in at 34%.

Shift over to a highly competitive business like the airlines, where no one company has a sustainable competitive advantage, and return on equity sinks dramatically. United Airlines, in a year that it makes money, comes in at 15%, and American Airlines earns 4%. Delta Air Lines and Northwest don't earn anything because they don't earn any money.

High returns on equity mean that the company is making good use of the earnings that it is retaining. As time goes by,

these high returns on equity will add up and increase the underlying value of the business, which, over time, will eventually be recognized by the stock market through an increasing price for the company's stock.

Please note: Some companies are so profitable that they don't need to retain any earnings, so they pay them all out to the shareholders. In these cases we will sometimes see a negative number for shareholders' equity. The danger here is that insolvent companies will also show a negative number for shareholders' equity. If the company shows a long history of strong net earnings, but shows a negative shareholders' equity, it is probably a company with a durable competitive advantage. If the company shows both negative shareholders' equity and a history of negative net earnings, we are probably dealing with a mediocre business that is getting beaten up by the competition.

So here is the rule: High returns on shareholders' equity means "come play." Low returns on shareholders' equity mean "stay away."

Got it? Okay, let's move on.

CHAPTER 49

The Problem with Leverage and the Tricks It Can Play on You

Leverage is the use of debt to increase the earnings of the company. The company borrows $100 million at 7% and puts that money to work, where it earns 12%. This means that it is earning 5% in excess of its capital costs. The result is that $5 million is brought to the bottom line, which increases earnings and return on equity.

The problem with leverage is that it can make the company appear to have some kind of competitive advantage, when it in fact is just using large amounts of debt. Wall Street investment banks are notorious for the use of very large amounts of leverage to generate earnings. In their case they borrow $100 billion at, let us say, 6% and then loan it out at 7%, which means that they are earning 1% on the $100 billion, which equates to $1 billion. If that $1 billion shows up year after year, it creates the appearance of some kind of durable competitive advantage, even if there isn't one.

The problem is that while it appears that the investment bank has consistency in its income stream, the actual source that is sending it the interest payments may not be able to maintain the payments. This happened in the recent subprime-lending crisis that cost the banks hundreds of billions of dollars. They borrowed billions at, say, 6% and loaned it out at 8% to subprime homebuyers, which made them a ton of money. But when the economy started to slip, the subprime homebuyers started to default on their mortgages, which meant they stopped making interest payments. These subprime borrowers did not have a durable source of income, which ultimately meant that the investment banks didn't either.

In assessing the quality and durability of a company's competitive advantage, Warren has learned to avoid businesses that use a lot of leverage to help them generate earnings. In the short run they appear to be the goose that lays the golden eggs, but at the end of the day, they are not.



THE CASH FLOW STATEMENT

"There is a huge difference between the business that grows and requires lots of capital to do so and the business that grows and doesn't require capital."

—Warren Buffett

CHAPTER 50

The Cash Flow Statement: Where Warren Goes to Find the Cash

Most companies use what is called an Accrual Method of accounting, as opposed to a Cash Method. With the Accrual Method sales are booked when the goods go out the door, even if the buyer takes years to pay for them. With a Cash Method sales are only booked when the cash comes in. Because almost all businesses extend some kind of credit to their buyers, companies have found it more advantageous to use the Accrual Method, which allows them to book the sales on credit as income under accounts receivable on the income statement.

Since the Accrual Method of accounting allows credit sales to be booked as revenue it has become necessary for companies to keep separate track of the actual cash that flows in and out of the business. To this end, accountants created the cash flow statement.

A company can have a lot of cash coming in through the sale of shares or bonds and still not be profitable. (Similarly, a company can be profitable with a lot of sales on credit and not a lot of cash coming in.) The cash flow statement will tell us only if the company is bringing in more cash than it is spending ("positive cash flow") or if it is spending more cash than it is bringing in ("negative cash flow").

Cash flow statements are like income statements in that they always cover a set period of time. Company accountants generate one every three months and for the fiscal year.

The cash flow statement breaks down into three sections:

First, there is cash flow from operating activities: This area starts with net income and then adds back in depreciation and amortization. Though these are real expenses from an accounting point of view, they don't eat up any cash, because they represent cash that was eaten up years ago. What we end up with is Total Cash from Operating Activities.

($ in millions)	
Net Income	$5,981
Depreciation	1,163
Amortization	125
Total Cash from Operating Activities	$7,269

Next is cash flow from investing operations: This area includes an entry for all capital expenditures made for that accounting period. Capital expenditures is always a negative number because it's an expenditure, which causes a depletion of cash.

Also included in this category is Total Other Investing Cash Flow Items, which adds up all the cash that gets expended and brought in from the buying and selling of income-producing assets. If more cash is expended than is brought in, it is a negative number. If more cash is brought in than is expended, it is a positive number.

Both of these entries are added together to give us Total Cash from Investing Activities.

($ in millions)	
Capital Expenditures	($1,648)
Other Investing Cash Flow Items	(5,071)
Total Cash from Investing Activities	($6,719)

Finally, there is the section on cash flow from financing activities: This measures the cash that flows in and out of a company because of financing activities. This includes all outflows of cash for the payment of dividends. It also includes the selling and buying of the company's stock. When the company

sells shares to finance a new plant, cash flows in to the company. When the company buys back its shares, cash flows out of the company. The same thing happens with bonds: Sell a bond and cash flows in; buy back a bond and cash flows out. All three of these entries are then added together to provide Total Cash from Financing Activities.

($ in millions)	
Cash Dividends Paid	($3,149)
Issuance (Retirement) of Stock, Net	(219)
Issuance (Retirement) of Debt, Net	4,341
Total Cash from Financing Activities	$973

Now if we add the Total Cash from Operating Activities, with Cash for Investing Activities, together with the Total Cash from Financing Activities, we get the company's Net Change in Cash.

($ in millions)	
Total Cash from Operating Activities	$7,269
Total Cash from Investing Activities	(6,719)
Total Cash from Financing Activities	973
Net Change in Cash	$1,523

What Warren has discovered is that some of the information found on a company's cash flow statement can be very useful in helping us determine whether or not the company in question is benefiting from having a durable competitive advantage. So let's roll up our sleeves and dive into the cash flow statement to see what Warren is seeing, as he searches for the company that will make him his next billion.

CHAPTER 51

Capital Expenditures: Not Having Them Is One of the Secrets to Getting Rich

Cash Flow Statement	
($ in millions)	
→ Capital Expenditures	($1,648)
Other Investing Cash Flow Items	(5,071)
Total Cash from Investing Activities	($6,719)

Capital expenditures are outlays of cash or the equivalent in assets that are more permanent in nature—held longer than a year—such as property, plant, and equipment. They also include expenditures for such intangibles as patents. Basically they are assets that are expensed over a period of time greater

than a year through depreciation or amortization. Capital expenditures are recorded on the cash flow statement under investment operations.

Buying a new truck for your company is a capital expenditure, the value of the truck will be expensed through depreciation over its life—let's say six years. But the gasoline used in the truck is a current expense, with the full price deducted from income during the current year.

When it comes to making capital expenditures, not all companies are created equal. Many companies must make huge capital expenditures just to stay in business. If capital expenditures remain high over a number of years, they can start to have deep impact on earnings. Warren has said that this is the reason that he never invested in telephone companies—the tremendous capital outlays in building out communication networks greatly hamper their long-term economics.

As a rule, a company with a durable competitive advantage uses a smaller portion of its earnings for capital expenditures for continuing operations than do those without a competitive advantage. Let's look at a couple of examples.

Coca-Cola, a long-time Warren favorite, over the last ten years earned a total $20.21 per share while only using $4.01 per share, or 19% of its total earnings, for capital expenditures for the same time period. Moody's, a company Warren has identified as having a durable competitive advantage, earned $14.24 a share over the last ten years while using a

minuscule $0.84 a share, or 5% of its total earnings, for capital expenditures.

Compare Coke and Moody's with GM, which over the last ten years earned a total $31.64 a share after subtracting losses, while burning through a whopping $140.42 a share in capital expenditures. Or tiremaker Goodyear, which over the last ten years earned a total of $3.67 a share after subtracting losses and had total capital expenditures of $34.88 a share.

If GM used 444% more for capital expenditures than it earned, and Goodyear used 950%, where did all that extra money come from? It came from bank loans and from selling tons of new debt to the public. Such actions add more debt to these companies' balance sheets, which increases the amount of money they spend on interest payments, which is never a good thing.

Both Coke and Moody's, however, have enough excess income to have stock buyback programs that reduce the number of shares outstanding, while at the same time either reducing long-term debt or keeping it low. Both actions are big positives to Warren, and both helped him identify Coca-Cola and Moody's as businesses with a durable competitive advantage working in their favor.

When we look at capital expenditures in relation to net earnings we simply add up a company's total capital expenditures for a ten-year period and compare the figure with the company's total net earnings for the same ten-year period. The

reason we look at a ten-year period is that it gives us a really good long-term perspective as to what is going on with the business.

Historically, durable competitive advantage companies used a far smaller percentage of their net income for capital expenditures. For instance, Wrigley annually uses approximately 49% of its net earnings for capital expenditures. Altria uses approximately 20%; Procter & Gamble, 28%; Pepsico, 36%; American Express, 23%; Coca-Cola, 19%; and Moody's, 5%.

Warren has discovered that if a company is historically using 50% or less of its annual net earnings for capital expenditures, it is a good place to look for a durable competitive advantage. If it is consistently using less than 25% of its net earnings for capital expenditures, that scenario occurs more than likely because the company has a durable competitive advantage working in its favor.

And having a durable competitive advantage working in our favor is what it is all about.

CHAPTER 52

Stock Buybacks: Warren's Tax-Free Way to Increase Shareholder Wealth

Cash Flow Statement	
Financing Cash Flow Items	
($ in millions)	
Total Cash Dividends Paid	($3,149)
→ Issuance (Retirement) of Stock, Net	(219)
Issuance (Retirement) of Debt, Net	4,341
Cash from Financing Activities	$973

In the above cash flow statement the company being examined paid out dividends of $3.149 million, bought back $219 million of its shares, and sold $4.341 million of new debt. All

of this gave the company a net addition of $973 million in cash from financing activities.

Companies that have durable competitive advantage working in their favor make a ton of money, which creates the lovely problem of having to do something with it. If they don't just want to sit on it, or they can't reinvest it in the existing business or find a new business to invest in, they can either pay it out as dividends to their shareholders or use it to buy back shares. Since shareholders have to pay income tax on the dividends, Warren has never been too fond of using dividends to increase shareholders' wealth. This doesn't make anyone happy. A neater trick that Warren loves is to use some of the excess money that the company is throwing off to buy back the company's shares. This reduces the number of outstanding shares—which increases the remaining shareholders' interest in the company—and increases the per-share earnings of the company, which eventually makes the stock price go up.

Let's look at an example: If the company earned $10 million and has one million shares outstanding, it would have earnings of $10 a share. If we increase the number of shares outstanding to two million, the per-share earnings will drop to $5 a share. Likewise, if we decrease the number of shares outstanding to 500,000, we will increase the per-share earnings to $20 a share. More shares outstanding means lower per-share earnings, and lower shares outstanding means higher per-share earnings. Thus if the company buys back its own shares

it can increase its per-share earnings figure even though actual net earnings don't increase. The best part is that there is an increase in the shareholders' wealth that they don't have to pay taxes on until they sell their stock. Think of it as the gift that keeps on giving.

Warren is such a big fan of this bit of financial engineering that he pushes the board of directors of all the excellent companies he invests in to buy back shares instead of increasing the dividend. He used it with GEICO, and he still is using it with The Washington Post Company.

To find out if a company is buying back its shares, go to the cash flow statement and look under Cash from Investing Activities. There you will find a heading titled "Issuance (Retirement) of Stock, Net." This entry nets out the selling and buying back of the company's shares. If the company is buying back its shares year after year, it is a good bet that it is a durable competitive advantage that is generating all the extra cash that allows it to do so.

In other words, one of the indicators of the presence of a durable competitive advantage is a "history" of the company repurchasing or retiring its shares.



VALUING THE COMPANY WITH A DURABLE COMPETITIVE ADVANTAGE

"I look for businesses in which I think I can predict what they're going to look like in ten to fifteen years' time. Take Wrigley's chewing gum. I don't think the Internet is going to change how people chew gum."

—Warren Buffett

CHAPTER 53

Warren's Revolutionary Idea of the Equity Bond and How It Has Made Him Superrich

In the late 1980s, Warren gave a talk at Columbia University about how companies with a durable competitive advantage show such great strength and predictability in earnings growth that growth turns their shares into a kind of equity bond, with an ever-increasing coupon or interest payment. The "bond" is the company's shares/equity, and the "coupon/interest payment" is the company's pretax earnings. Not the dividends that the company pays out, but the actual pretax earnings of the business.

This is how Warren buys an entire business: He looks at its pretax earnings and asks if the purchase is a good deal relative to the economic strength of the company's underlying economics and the price being asked for the business. He uses the same reasoning when he is buying a partial interest in a company via the stock market.

What attracts Warren to the conceptual conversion of a company's shares into equity/bonds is that the durable competitive advantage of the business creates underlying economics that are so strong they cause a continuing increase in the company's earnings. With this increase in earnings comes an eventual increase in the price of the company's shares as the stock market acknowledges the increase in the underlying value of the company.

Thus, at the risk of being repetitive, to Warren the shares of a company with a durable competitive advantage are the equivalent of equity/bonds, and the company's pretax earnings are the equivalent of a normal bond's coupon or interest payment. But instead of the bond's coupon or interest rate being fixed, it keeps increasing year after year, which naturally increases the equity/bond's value year after year.

This is what happens when Warren buys into a company with a durable competitive advantage. The per-share earnings continue to rise over time—either through increased business, expansion of operations, the purchase of new businesses, or the repurchase of shares with money that accumulates in the company's coffers. With the rise in earnings comes a corresponding increase in the return that Warren is getting on his original investment in the equity bond.

Let's look at an example to see how his theory works.

In the late 1980s, Warren started buying shares in Coca-Cola for an average price of $6.50 a share against pretax earnings of $.70 a share, which equates to after-tax earnings of

$.46 a share. Historically, Coca-Cola's earnings had been growing at an annual rate of around 15%. Seeing this, Warren could argue that he just bought a Coca-Cola equity bond that is paying an initial pretax interest rate of 10.7% on his $6.50 investment. He could also argue that that yield would increase over time at a projected annual rate of 15%.

Understand that, unlike the Graham-based value investors, Warren is not saying that Coca-Cola is worth $60 and is trading at $40 a share; therefore it is "undervalued." What he is saying is that at $6.50 a share, he was being offered a relatively risk-free initial pretax rate of return of 10.7%, which he expected to increase over the next twenty years at an annual rate of approximately 15%. Then he asked himself if that was an attractive investment given the rate of risk and return on other investments.

To the Graham-based value investors, a pretax 10.7% rate of return growing at 15% a year would not be interesting since they are only interested in the stock's market price and, regardless of what happens to the business, have no intention of holding the investment for more than a couple of years. But to Warren, who plans on owning the equity bond for twenty or more years, it is his dream investment.

Why is it his dream investment? Because with each year that passes, his return on his initial investment actually increases, and in the later years the numbers really start to pyramid. Consider this: Warren's initial investment in The Washington Post Company cost him $6.36 a share. Thirty-four

years later, in 2007, the media company is earning a pretax $54 a share, which equates to an after-tax return of $34 a share. This gives Warren's Washington Post equity bonds a current pretax yield of 849%, which equates to an after-tax yield of 534%. (And you were wondering how Warren got so rich!)

So how did Warren do with his Coca-Cola equity bonds?

By 2007 Coca-Cola's pretax earnings had grown at an annual rate of approximately 9.35% to $3.96 a share, which equates to an after-tax $2.57 a share. This means that Warren can argue that his Coke equity bonds are now paying him a pretax return of $3.96 a share on his original investment of $6.50 a share, which equates to a current pretax yield of 60% and a current after-tax yield of 40%.

The stock market, seeing this return, over time, will eventually revalue Warren's equity bonds to reflect this increase in value.

Consider this: With long-term corporate interest rates at approximately 6.5% in 2007, Warren's Washington Post equity bonds/shares, with a pretax $54 earnings/interest payment, were worth approximately $830 per equity bond/share that year ($54 ÷ .065 = $830). During 2007, Warren's Washington Post equity bonds/shares traded in a range of between $726 and $885 a share, which is right about in line with the equity bond's capitalized value of $830 a share.

We can witness the same stock market revaluing phenomenon with Warren's Coca-Cola equity bonds. In 2007 they

earned a pretax $3.96 per equity bond/share, which equates to an after-tax $2.57 per equity bond/share. Capitalized at the corporate interest rate of 6.5%, Coke's pretax earnings of $3.96 are worth approximately $60 per equity bond/share ($3.96 ÷ .065 = $60). During 2007, the stock market valued Coca-Cola between $45 and $64 a share.

One of the reasons that the stock market eventually tracks the increase in these companies' underlying values is that their earnings are so consistent, they are an open invitation to a leveraged buyout. If a company carries little debt and has a strong earnings history, and its stock price falls low enough, another company will come in and buy it, financing the purchase with the acquired company's earnings. Thus when interest rates drop, the company's earnings are worth more, because they will support more debt, which makes the company's shares worth more. And when interest rates rise, the earnings are worth less, because they will support less debt. This makes the company's stock worth less.

What Warren has learned is that if he buys a company with a durable competitive advantage, the stock market, over time, will price the company's equity bonds/shares at a level that reflects the value of its earnings relative to the yield on long-term corporate bonds. Yes, some days the stock market is pessimistic and on others is full of wild optimism, but in the end it is long-term interest rates that determine the economic reality of what long-term investments are worth.

CHAPTER 54

The Ever-Increasing Yield Created by the Durable Competitive Advantage

To belabor the point, because it is definitely worth belaboring, let's look at a couple of Warren's other favorite durable competitive advantage companies to see if the yields on their equity bonds/shares have increased over time:

In 1998 Moody's' reported after-tax earnings of $.41 per share. By 2007 Moody's after-tax earnings had grown to $2.58 a share. Warren paid $10.38 a share for his Moody's equity bonds, and today they are earning an after-tax yield of 24%, which equates to a pretax yield of 38%.

In 1998 American Express had after-tax earnings of $1.54 a share. By 2008 its after-tax earnings had increased to $3.39 a share. Warren paid $8.48 a share for his American Express equity bonds, which means they are currently yielding an after-tax 40% rate of return, which equates to a 61% pretax rate of return.

Long-time Warren favorite Procter & Gamble earned an after-tax $1.28 a share in 1998. By 2007 it had after-tax earnings of $3.31 a share. Warren paid $10.15 a share for his Procter & Gamble equity bonds, which are now yielding an after-tax 32%, which equates to a pretax return of 49%.

With See's Candy Warren bought the whole company for $25 million back in 1972. In 2007 it had pretax earnings of $82 million, which means his See's equity bonds are now producing an annual pretax yield of 328% on his original investment.

With all these companies, their durable competitive advantage caused their earnings to increase year after year, which, in turn, increased the underlying value of the business. Yes, the stock market may take its own sweet time acknowledging this increase, but it will eventually happen, and Warren has banked on that "happening" many, many times.

CHAPTER 55

More Ways to Value a Company with a Durable Competitive Advantage

As stated earlier, in 1987 Warren started buying shares in Coca-Cola for an average price of $6.50 a share against pretax earnings of $.70 a share; this equates to after-tax earnings of $.46 a share. Historically, Coca-Cola's earnings had been growing at an annual rate of around 10%.

Seeing this, Warren could argue that he had just bought a Coca-Cola equity bond paying an initial pretax interest rate of 10.7% on his $6.50 investment. He could also argue that that pretax yield would increase over time at a projected annual rate of 10% (Coca-Cola's average annual rate of earnings growth for the ten years prior to 1987).

If, in 1987, he had projected out the earnings growth of 10% forward, he could have argued that by 2007 Coca-Cola would have pretax per-share earnings of $4.35 and after-tax earnings of $2.82 a share. This would mean that by 2007 his

pretax return on his Coca-Cola equity bonds would grow to 66%, which equates to an after-tax return of 43%.

So what was a pretax 66% return on a $6.50 equity bond in 2007 worth in 1987? It depends on the discount rate that we use. If we use 7%, which is right about what long-term rates were back then, we get a discounted back value of approximately 17%. Multiply 17% by the $6.50 a share he was paying for and we would get $1.10 a share. Multiply $1.10 by Coca-Cola's 1987 P/E of 14 and we get $15.40 per share. Thus Warren could have argued in 1987 that he was buying an equity bond for $6.50 a share, and that if he held it for twenty years, its 1987 intrinsic value really would be $15.40 a share.

By 2007 Coca-Cola's pretax earnings had grown at an annual rate of 9.35% to $3.96 a share, which equates to an after-tax $2.57 a share. This means that Warren can argue that his Coca-Cola equity bonds are now paying him a pretax return of $3.96 a share on his original investment of $6.50 a share, which equates to a current pretax yield of 60% and an after-tax yield of 40%.

The stock market in 2007 valued Warren's equity bonds at between $45 and $64 a share. In 2007 Coca-Cola earned a pretax $3.96 per equity bond/share, which equated to an after-tax $2.57 per equity bond/share. Capitalized at the 2007 corporate interest rate of 6.5%, Coca-Cola's pretax earnings of $3.96 a share are worth approximately $60 per equity

bond/share ($3.96 ÷ .065 = $60). This is in line with the 2007 stock market value at between $45 and $64 a share.

With the market valuing Warren's Coca-Cola equity bonds at $64 a share in 2007, Warren could calculate that he has been earning a tax-deferred annual compounding rate of return of 12.11% on his original investment. Think of it as a bond that paid an annual rate of return of 12.11% without tax on the interest earned. Not only that: You got to reinvest all those interest payments in more bonds that were paying 12.11%. Yes, someday you will have to pay taxes when you sell your equity bonds, but if you don't sell them you just keep on earning 12.11% free of taxes year after year after year. . . .

Don't believe it? Consider this: Warren has approximately $64 billion in capital gains on his Berkshire stock and has yet to pay a penny in taxes on it. The greatest accumulation of private wealth in the history of the world and not a penny paid to the taxman.

Does it get any better?

CHAPTER 56

How Warren Determines the Right Time to Buy a Fantastic Business

In Warren's world the price you pay directly affects the return on your investment. Since he is looking at a company with a durable competitive advantage as being a kind of equity bond, the higher the price he pays, the lower his initial rate of return and the lower the rate of return on the company's earnings in ten years. Let's look at an example: In the late 1980s, Warren started buying Coca-Cola for an average price of $6.50 a share against earnings of a $.46 a share, which in Warren's world equates to an initial rate of return of 7%. By 2007 Coca-Cola was earning $2.57 a share. This means that Warren can argue that his Coca-Cola equity bond was now paying him $2.57 a share on his original investment of $6.50, which equates to a return of 39.9%. But if he had paid $21 a share for his Coca-Cola stock back in the late 1980s, his initial rate of return would have been 2.2%. By 2007 this would have grown only to

12% ($2.57 ÷ $21 = 12%), which is definitely not as attractive a number as 39.9%.

Thus the lower the price you pay for a company with a durable competitive advantage, the better you are going to do over the long-term, and Warren is all about the long-term. However, these companies seldom, if ever, sell at a bargain price from an old-school Grahamian perspective. This is why investment managers who follow the value doctrine that Graham preached never own super businesses, because to them these businesses are too expensive.

So when do you buy in to them? In bear markets for starters. Though they might still seem high priced compared with other "bear market bargains," in the long run they are actually the better deal. And occasionally even a company with a durable competitive advantage can screw up and do something stupid, which will send its stock price downward over the short-term. Think New Coke. Warren has said that a wonderful buying opportunity can present itself when a great business confronts a one-time solvable problem. The key here is that the problem is solvable.

When do you want to stay away from these super businesses? At the height of bull markets, when these super businesses trade at historically high price-to-earnings ratios. Even a company that benefits from having a durable competitive advantage can't unmoor itself from producing mediocre results for investors if they pay too steep a price for admission.

CHAPTER 57

How Warren Determines It Is Time to Sell

In Warren's world you would never sell one of these wonderful businesses as long as it maintained its durable competitive advantage. The simple reason is that the longer you hold on to them, the better you do. Also, if at any time you sold one these great investments, you would be inviting the taxman to the party. Inviting the taxman to your party too many times makes it very hard to get superrich. Consider this: Warren's company has about $36 billion in capital gains from his investments in companies that have durable competitive advantages. This is wealth he hasn't yet paid a dime of tax on, and if he has it his way, he never will.

Still, there are times that it is advantageous to sell one of these wonderful businesses. The first is when you need money to make an investment in an even better company at a better price, which occasionally happens.

The second is when the company looks like it is going to

lose its durable competitive advantage. This happens periodically, as with newspapers and television stations. Both of them used to be fantastic businesses. But the Internet came along and suddenly the durability of their competitive advantage was called into question. A questionable competitive advantage is not where you want to keep your money long-term.

The third is during bull markets when the stock market, in an insane buying frenzy, sends the prices on these fantastic businesses through the ceiling. In these cases, the current selling price of the company's stock far exceeds the long-term economic realities of the business. And the long-term economic realities of a business are like gravity when stock prices climb up into the outer limits. Eventually they will pull the stock price back down to earth. If they climb too high, the economics of selling and putting the proceeds into another investment may outweigh the benefits afforded by continued ownership of the business. Think of it this way: If we can project that the business we own will earn $10 million over the next twenty years, and someone today offers us $5 million for the entire company, do we take it? If we can only invest the $5 million at a 2% annual compounding rate of return, probably not, since the $5 million invested today at a 2% compounding annual rate of return would be worth only $7.4 million by year twenty. Not a great deal for us. But if we could get an annual compounding rate of return of 8%, our $5 million would have grown to $23 mil-

lion by year twenty. Suddenly, selling out looks like a real sweet deal.

A simple rule is that when we see P/E ratios of 40 or more on these super companies, and it does occasionally happen, it just might be time to sell. But if we do sell into a raging bull market, then we shouldn't go out and buy something else trading at 40 times earnings. Instead, we should take a break, put our money into U.S. Treasuries and wait for the next bear market. Because there is always another bear market right around the corner, just waiting to give us the golden opportunity to buy into one or more of these amazing durable competitive advantage businesses that will, over the long-term, make us super superrich.

Just like Warren Buffett.

Appendix

Model Balance Sheet of a Company with a Durable Competitive Advantage

($ in millions)

Assets	
Cash & Short-Term Investments	$4,208
Total Inventory	2,220
Total Receivables, Net	3,317
Prepaid Expenses	2,260
Other Current Assets, Total	0
Total Current Assets	12,005
Property/Plant/Equipment	8,493
Goodwill, Net	4,246
Intangibles, Net	7,863
Long-Term Investments	7,777
Other Long-Term Assets	2,675
Other Assets	0
Total Assets	$43,059

Liabilities	
Accounts Payable	$1,380
Accrued Expenses	5,535
Short-Term Debt	5,919
Long-Term Debt Due	133
Other Current Liabilities	258
Total Current Liabilities	13,225
Long-Term Debt	3,277
Deferred Income Tax	1,890
Minority Interest	0
Other Liabilities	3,133
Total Liabilities	$21,525
Shareholders' Equity	
Preferred Stock	0
Common Stock	880
Additional Paid in Capital	7,378
Retained Earnings	36,235
Treasury Stock, Common	−23,375
Other Equity	626
Total Shareholders' Equity	21,744
Total Liabilities & Shareholders' Equity	$43,269

Model Balance Sheet of a Mediocre Company without a Durable Competitive Advantage

($ in millions)

Assets	
Cash & Short-Term Investments	$28,000
Total Inventory	10,190
Total Receivables, Net	69,787
Prepaid Expenses	260
Other Current Assets, Total	5
Total Current Assets	108,242
Property/Plant/Equipment	40,012
Goodwill, Net	736
Intangibles, Net	333
Long-Term Investments	43,778
Other Long-Term Assets	22,675
Other Assets	5,076
Total Assets	$220,852

Liabilities	
Accounts Payable	$22,468
Accrued Expenses	5,758
Short-Term Debt	32,919
Long-Term Debt Due	920
Other Current Liabilities	258
Total Current Liabilities	62,323
Long-Term Debt	133,277
Deferred Income Tax	5,890
Minority Interest	0
Other Liabilities	3,133
Total Liabilities	$204,623
Shareholders' Equity	
Preferred Stock	$150
Common Stock	880
Additional Paid in Capital	7,378
Retained Earnings	8,235
Treasury Stock, Common	0
Other Equity	−414
Total Shareholders' Equity	16,229
Total Liabilities & Shareholders' Equity	$220,852

Model Income Statement of a Company with a Durable Competitive Advantage

($ in millions)

Revenue	$28,857
Cost of Goods Sold	10,406
Gross Profit	18,451
Operating Expenses	
Selling, General & Administration	10,200
Research & Development	0
Depreciation	1,107
Operating Profit	7,144
Interest Expense	456
Gain (Loss) Sale Assets	1,275
Other	50
Income Before Tax	7,913
Income Taxes Paid	2,769
Net Earnings	$5,144

Model Income Statement of a Company without a Durable Competitive Advantage

($ in millions)

Revenue	$172,455
Cost of Goods Sold	142,587
Gross Profit	29,868
Operating Expenses	
Selling, General & Administration	20,170
Research & Development	5,020
Depreciation	6,800
Operating Profit (Loss)	(2,122)
Interest Expense	10,200
Gain (Loss) Sale Assets	402
Other	35
Income Before Tax (Loss)	(11,955)
Income Taxes Paid	0
Net Earnings	($11,955)

Select Glossary of Terms

AAA rating: The highest rating that Standard & Poor's gives to a company for its financial soundness.

It doesn't get any better than this. The company is golden if it gets this rating.

accounts receivable: Money owed to the company for goods sold that haven't been paid for yet.

Having lots of accounts receivable is a good thing, but having lots of cash is even better.

accumulated depreciation: The total of all depreciation, or decreases in value, that has been charged against an asset.

Accountants like to keep track of everything, including how much things depreciate. Think of accumulated depreciation as a very large trash can you can check to find how much the company's assets have depreciated.

amortization: Basically, the same as depreciation, but it applies to intangible assets such as goodwill and patents.

Depreciation applies to tangible assets such as a manufacturing plant. The problem with patents, for example, is that they

don't really depreciate, so the cost of the patent is spread out (amortized) over a number of years as a cost.

asset: Something that is owned by the business and is expected to be used to generate future income.

Having lots of assets is a good thing. Having lots of assets that produce lots of money is an even better thing.

balance sheet: A summary of a company's assets, liabilities, and ownership equity as of a specific date, such as the end of its fiscal year.

A balance sheet is often described as a snapshot of a company's financial condition on a single day within the year. There is no such thing as a balance sheet for a longer period of time. A balance sheet tells you how much you have and how much you owe. Subtract one from the other and you get how much you are worth.

bond: A security that represents long-term debt.

Companies with durable competitive advantages don't have a lot of bonds because they usually don't have a lot of debt. And not having a lot of debt is a good thing.

book value: All of the company's assets minus all of the company's liabilities. Divide this by the number of common shares outstanding, and you get the per-share book value of the company.

Increasing book value is a good thing; decreasing book value is a bad thing.

capital expenditures: The amount the company spends every year on building new or upgrading old infrastructure.

Companies with a durable competitive advantage tend to have low capital expenditures.

cash flow: The amount of cash generated by the company during a specific period. Cash flow for a company is tracked on the cash flow statement.

common stock: Securities that represent ownership in the business. Holders of common stock are entitled to elect a board of directors, receive dividends, and collect all the proceeds from the sale of a company after all of its debts have been paid.

Warren got rich by buying the common stock of companies.

competitive advantage: An edge over competitors that allows the company to make more money.

The more cash a company can generate, the happier its shareholders. Warren is only interested in companies that have a competitive advantage that can be maintained over a long period of time.

cost of goods sold: The cost of inventory sold during a specific period. Or the cost of obtaining raw goods and making finished products.

Low cost of goods sold relative to revenue is a good thing; high costs are a bad thing.

current assets: Assets—*things of value*—that are cash or are expected to be converted into cash within a year. These assets are found on the balance sheet and include cash, cash equivalents, accounts receivable, inventory, and prepaid expenses.

current liabilities: Money owed within a year.

current ratio: The ratio of current assets to current liabilities.

Current ratio is of little use in the search for the company with a durable competitive advantage.

depreciation: Tangible assets wear out as they are used. As they wear out, a depreciation charge is taken against the asset.

durable competitive advantage: A competitive advantage over a company's competitors that it can maintain for a long period of time.

This is the secret to Warren's success and the reason that you are reading this book.

EBITDA: Earnings before interest, taxes, depreciation, and amortization.

Companies that don't make money love EBITDA. Warren thinks that EBITDA is stupid. Whenever you hear management talking in terms of EBITDA, it means that they don't have a durable competitive advantage.

financial statement: The balance sheet, income statement, and cash flow statement.

This shows where all the goodies are kept, but you need to see them from a number of years if you really want to tell what is going on.

goodwill: The value of an asset in excess of the value that is carried on the books.

The company has a per-share book value of $10 and a selling price of $15 a share. The $5 in excess of the book value is booked as goodwill if the company was bought by another company.

gross margin: The ratio of total profit to sales.

The higher the better. Companies with a durable competitive advantage tend to have high gross margins.

gross profit: Proceeds on product sales. Sales minus cost of goods sold equals gross profit.

It's good to bounce other numbers off the gross profit.

income statement: The statement that shows a company's income and expenses for a specific period.

A single year's income statement tells us very little. We need to check out five-to-ten years' worth of income statements if we are really serious about finding out if the company has a durable competitive advantage.

intangible assets: Assets such as patents and copyrights, which can't be physically touched, but can generate income.

Think of these as monopolies protected by law, which is a

kind of durable competitive advantage. The only problem with patents is that they eventually expire, or lose their protection. When this happens, any and every company in the world can produce the product and the company loses the competitive advantage the patent once provided. This is the reason why Warren has historically stayed away from the drug manufacturers.

interest expense: The amount of money a company pays in interest on both its long- and short-term debt.

Companies without a durable competitive advantage tend to have a lot of interest expense because they have a lot of debt. Companies with a durable competitive advantage tend not to have any debt so they have little or no interest expense.

inventory: A company's products that are either completed or in some stage of completion and that will be sold to the company's customers.

If sales are decreasing and inventory is rising, watch out.

leverage: The amount of debt the company has in relation to the shareholders' equity.

The presence of a large amount of leverage over a long period of time usually means that the company doesn't have a durable competitive advantage.

liabilities: The obligations the company has to pay others.

Liabilities are listed on the company's balance sheet. They are

not a good thing to have. A company should strive to have as few as possible.

long-term debt: Debt that has a maturity date of longer than one year.

Companies with a durable competitive advantage tend to have little or no long-term debt.

mediocre business: A company that doesn't have a durable competitive advantage and suffers the intense pressures of competition.

This is the kind of company that will make you poor over the long run.

net income: The company's profit after all costs, expenses, and taxes are deducted from revenue.

The more net income, the better. The more consistent the net income, the more likely the company has a durable competitive advantage.

operating expenses: Costs of running the business that are not tied directly to the production costs of the company's products.

Lower is better.

operating profit: The company's earnings from ongoing operations. This is equal to earnings before deductions for interest payments and income taxes. Also called EBIT (earnings before interest and taxes) or operating income.

outstanding shares: Common stock held by investors. Does not include treasury shares, but does include restricted shares owned by corporate officers and insiders.

A dramatic increase in the number of shares outstanding over a number of years without an increase in the company's earnings usually means that the company is selling new shares to increase its capital base to make up for the fact that it is a mediocre business. Warren stays away from mediocre businesses.

preferred stock: Capital stock that provides a specific dividend and grants no voting rights.

Companies with a durable competitive advantage tend not to have any preferred stock.

prepaid expense: A current asset that represents an expense that was paid before or at the beginning of the accounting period in which the benefit of the expense will be received.

research and development expense: The amount of money a company spends in a given period of time on producing and improving new products.

Companies with a durable competitive advantage tend to have little or no research and development expenses.

retained earnings: Accumulated net earnings of the business that have not been paid out as a dividend.

A solid long-term growth in retained earnings is one of the marks of a company with a durable competitive advantage.

return on equity: A company's net income divided by its shareholders' equity.

This is one of the ways that Warren tells if the company has a durable competitive advantage. The higher the better.

revenues: Money received or that is due from the sale of the company's products or services.

Revenue is where it all starts, but it should never be used as the only way to value a business, unless you work on Wall Street and are trying to sell the public on a company that doesn't earn any money.

SGA costs: Selling, general, and administrative expenses, which report the company's costs for direct and indirect selling expenses and all general and administrative expenses that were incurred during the accounting period. This includes management salaries, advertising, travel costs, legal fees, commissions, all payroll costs, and the like.

Lower is better.

shareholders' equity: The net worth of the business. Total assets minus total liabilities equals shareholders' equity.

treasury shares: What is known as treasury stock in the United States is referred to as treasury shares in the United Kingdom.

treasury stock: The company's common stock that has been repurchased by the company. Treasury stock grants no voting

rights or the right to receive dividends and should not be included in the outstanding shares calculations.

Having treasury stock tells us that the company just might have a durable competitive advantage.

undervalued company: A company that is selling in the stock market at a price below its long-term worth as a business.

Benjamin Graham bought undervalued companies and made millions. Warren bought companies with a durable competitive advantage and made billions.

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Essays by

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INTRODUCTION

Lawrence A. Cunningham

Experienced readers of Warren Buffett's letters to the shareholders of Berkshire Hathaway Inc. have gained an enormously valuable informal education. The letters distill in plain words all the basic principles of sound business practices. On selecting managers and investments, valuing businesses, and using financial information profitably, the writings are broad in scope, and long on wisdom.

Yet until now the letters existed in a format that was neither easily accessible nor organized in any thematic way. Consequently, the ideas have not been given the more widespread attention they deserve. The motivation for this compendium and for the symposium featuring it is to correct an inefficiency in the marketplace of ideas by disseminating the essays to a wider audience.

The central theme uniting Buffett's lucid essays is that the principles of fundamental valuation analysis, first formulated by his teachers Ben Graham and David Dodd, should guide investment practice. Linked to that theme are management principles that define the proper role of corporate managers as the stewards of invested capital, and the proper role of shareholders as the suppliers and owners of capital. Radiating from these main themes are practical and sensible lessons on mergers and acquisitions, accounting, and taxation.

Many of Buffett's lessons directly contradict what has been taught in business and law schools during the past thirty years, and what has been practiced on Wall Street and throughout corporate America during that time. Much of that teaching and practice eclipsed what Graham and Dodd had to say; Buffett is their prodigal pupil, stalwartly defending their views. The defenses run from an impassioned refutation of modern finance theory, to convincing demonstrations of the deleterious effects of using stock options to compensate managers, to persuasive arguments about the exaggerated benefits of synergistic acquisitions and cash flow analysis.

Buffett has applied the traditional principles as chief executive officer of Berkshire Hathaway, a company with roots in a group of textile operations begun in the early 1800s. Buffett took the helm of Berkshire in 1964, when its book value per share was $19.46 and its intrinsic value per share far lower. Today, its book value per share is around $20,000 and its intrinsic value far higher. The

growth rate in book value per share during that period is 23.8% compounded annually.

Berkshire is now a holding company engaged in a variety of businesses, not including textiles. Berkshire's most important business is insurance, carried on principally through its 100% owned subsidiary, GEICO Corporation, the seventh largest auto insurer in the United States. Berkshire publishes *The Buffalo News* and owns other businesses that manufacture or distribute products ranging from encyclopedias, home furnishings, and cleaning systems, to chocolate candies, ice cream, footwear, uniforms, and air compressors. Berkshire also owns substantial equity interests in major corporations, including American Express, Coca-Cola, Walt Disney, Freddie Mac, Gillette, McDonald's, The Washington Post, and Wells Fargo.

Buffett and Berkshire Vice Chairman Charlie Munger have built this $50 billion enterprise by investing in businesses with excellent economic characteristics and run by outstanding managers. While they prefer negotiated acquisitions of 100% of such a business at a fair price, they take a "double-barreled approach" of buying on the open market less than 100% of such businesses when they can do so at a pro-rata price well below what it would take to buy 100%.

The double-barreled approach has paid off handsomely. The value of marketable securities in Berkshire's portfolio, on a per share basis, increased from $4 in 1965 to over $22,000 in 1995, a 33.4% annual increase. Per share operating earnings increased in the same period from just over $4 to over $258, a 14.79% annual increase. These extraordinary results continue, in recent years increasing at similar rates. According to Buffett, these results follow not from any master plan but from focused investing-allocating capital by concentrating on businesses with outstanding economic characteristics and run by first-rate managers.

Buffett views Berkshire as a partnership among him, Munger and other shareholders, and virtually all his $15-plus billion net worth is in Berkshire stock. His economic goal is long-term-to maximize Berkshire's per share intrinsic value by owning all or part of a diversified group of businesses that generate cash and above-average returns. In achieving this goal, Buffett foregoes expansion for the sake of expansion and foregoes divestment of businesses so long as they generate some cash and have good management.

Berkshire retains and reinvests earnings when doing so delivers at least proportional increases in per share market value over time. It uses debt sparingly and sells equity only when it receives as much in value as it gives. Buffett penetrates accounting conventions, especially those that obscure real economic earnings.

These owner-related business principles, as Buffett calls them, are the organizing themes of the accompanying essays. As organized, the essays constitute an elegant and instructive manual on management, investment, finance, and accounting. Buffett's basic principles form the framework for a rich range of positions on the wide variety of issues that exist in all aspects of business. They go far beyond mere abstract platitudes. It is true that investors should focus on fundamentals, be patient, and exercise good judgment based on common sense. In Buffett's essays, these advisory tidbits are anchored in the more concrete principles by which Buffett lives and thrives.

Many people speculate on what Berkshire and Buffett are doing or plan to do. Their speculation is sometimes right and sometimes wrong, but always foolish. People would be far better off not attempting to ferret out what specific investments are being made at Berkshire, but thinking about how to make sound investment selections based on Berkshire's teaching. That means they should think about Buffett's writings and learn from them, rather than try to emulate Berkshire's portfolio.

Buffett modestly confesses that most of the ideas expressed in his essays were taught to him by Ben Graham. He considers himself the conduit through which Graham's ideas have proven their value. In allowing me to prepare this material, Buffett said that I could be the popularizer of Graham's ideas and Buffett's application of them. Buffett recognizes the risk of popularizing his business and investment philosophy. But he notes that he benefited enormously from Graham's intellectual generosity and believes it is appropriate that he pass the wisdom on, even if that means creating investment competitors. To that end, my most important role has been to organize the essays around the themes reflected in this collection. This introduction to the major themes encapsulates the basics and locates them in the context of current thinking. The essays follow.

CORPORATE GOVERNANCE

For Buffett, managers are stewards of shareholder capital. The best managers think like owners in making business decisions.

They have shareholder interests at heart. But even first-rate managers will sometimes have interests that conflict with those of shareholders. How to ease those conflicts and to nurture managerial stewardship have been constant objectives of Buffett's forty-year career and a prominent theme of his essays. The essays address some of the most important governance problems.

The first is not dwelt on in the essays but rather permeates them: it is the importance of forthrightness and candor in communications by managers to shareholders. Buffett tells it like it is, or at least as he sees it. That quality attracts an interested shareholder constituency to Berkshire, which flocks to its annual meetings in increasing numbers every year. Unlike what happens at most annual shareholder meetings, a sustained and productive dialogue on business issues results.

Besides the owner-orientation reflected in Buffett's disclosure practice and the owner-related business principles summarized above, the next management lesson is to dispense with formulas of managerial structure. Contrary to textbook rules on organizational behavior, mapping an abstract chain of command on to a particular business situation, according to Buffett, does little good. What matters is selecting people who are able, honest, and hard-working. Having first-rate people on the team is more important than designing hierarchies and clarifying who reports to whom about what and at what times.

Special attention must be paid to selecting a CEO because of three major differences Buffett identifies between CEOs and other employees. First, standards for measuring a CEO's performance are inadequate or easy to manipulate, so a CEO's performance is harder to measure than that of most workers. Second, no one is senior to the CEO, so no senior person's performance can be measured either. Third, a board of directors cannot serve that senior role since relations between CEOs and boards are conventionally congenial.

Major reforms are often directed toward aligning management and shareholder interests or enhancing board oversight of CEO performance. Stock options for management were touted as one method; greater emphasis on board processes was another. Separating the identities and functions of the Chairman of the Board and the CEO or appointment of standing audit, nominating and compensation committees were also heralded as promising reforms. None of these innovations has solved governance problems, however, and some have exacerbated them.

The best solution, Buffett instructs, is to take great care in identifying CEOs who will perform capably regardless of weak structural restraints. Outstanding CEOs do not need a lot of coaching from owners, although they can benefit from having a similarly outstanding board. Directors therefore must be chosen for their business savvy, their interest, and their owner-orientation. According to Buffett, one of the greatest problems among boards in corporate America is that members are selected for other reasons, such as adding diversity or prominence to a board.

Most reforms are painted with a broad brush, without noting the major differences among types of board situations that Buffett identifies. For example, director power is weakest in the case where there is a controlling shareholder who is also the manager. When disagreements arise between the directors and management, there is little a director can do other than to object and, in serious circumstances, resign. Director power is strongest at the other extreme, where there is a controlling shareholder who does not participate in management. The directors can take matters directly to the controlling shareholder when disagreement arises.

The most common situation, however, is a corporation without a controlling shareholder. This is where management problems are most acute, Buffett says. It would be helpful if directors could supply necessary discipline, but board congeniality usually prevents that. To maximize board effectiveness in this situation, Buffett believes the board should be small in size and composed mostly of outside directors. The strongest weapon a director can wield in these situations remains his or her threat to resign.

All these situations do share a common characteristic: the terrible manager is a lot easier to confront or remove than the mediocre manager. A chief problem in all governance structures, Buffett emphasizes, is that in corporate America evaluation of chief executive officers is never conducted in regular meetings in the absence of that chief executive. Holding regular meetings without the chief executive to review his or her performance would be a marked improvement in corporate governance.

Evaluating CEO performance is even harder than it may seem. Both short-term results and potential long-term results must be assessed. If only short-term results mattered, many managerial decisions would be much easier, particularly those relating to businesses whose economic characteristics have eroded. For an extreme but not atypical example, consider Al Dunlap's aggressive plan to turn around ailing Sunbeam. Dunlap fired half of Sun-

beam's workers and closed or consolidated more than half its facilities, including some engaged in the textile business in New England. Boasting that he was attacking the entire company, Dunlap declared that his plan was as carefully plotted as the invasion of Normandy. Driven solely by the primacy of the short-term bottom line, that decision was easy.

The decision is much harder, however, if you recognize that superior long-term results can flow from earning the trust of social communities, as Buffett's consideration of the anxieties of plant closings suggests. The economic characteristics of Berkshire's old textile business had begun to erode by the late 1970s. Buffett had hoped to devise a reversal of its misfortunes, noting how important Berkshire's textile business was to its employees and local communities in New England, and how able and understanding management and labor had been in addressing the economic difficulties. Buffett kept the ailing plant alive through 1985, but a financial reversal could not be achieved and Buffett eventually closed it. Whether Buffett would approve of Dunlap-style short-termism is not clear, but his own style of balancing short-term results with long-term prospects based on community trust is certainly different. It is not easy, but it is intelligent.

Sometimes management interests conflict with shareholder interests in subtle or easily disguised ways. Take corporate philanthropy, for example. At most major corporations, management allocates a portion of corporate profit to charitable concerns. The charities are chosen by management, for reasons often unrelated either to corporate interests or shareholder interests. Most state laws permit management to make these decisions, so long as aggregate annual donations are reasonable in amount, usually not greater than 10% of annual net profits.

Berkshire does things differently. Shareholders designate charities to which the corporation donates. Nearly all shareholders participate in allocating millions of dollars per year to charitable organizations of their choice. This is an imaginative practical response to a tension that is at the core of the management-shareholder relationship. It is surprising that other American corporations do not follow this model of corporate charitable giving. Part of the reason may be the lack of long-term ownership orientation that characterizes the shareholder profiles of many American corporations. If so, this demonstrates a cost of the short-term mentality of America's investment community.

The plan to align management and shareholder interests by awarding executives stock options not only was oversold, but also subtly disguised a deeper division between those interests that the options created. Many corporations pay their managers stock options whose value increases simply by retention of earnings, rather than by superior deployment of capitaL As Buffett explains, however, simply by retaining and reinvesting earnings, managers can report annual earnings increases without so much as lifting a finger to improve real returns on capitaL Stock options thus often rob shareholders of wealth and allocate the booty to executives. Moreover, once granted, stock options are often irrevocable, unconditional, and benefit managers without regard to individual performance.

It is possible to use stock options to instill a managerial culture that encourages owner-like thinking, Buffett agrees. But the alignment will not be perfect. Shareholders are exposed to the downside risks of sub-optimal capital deployment in a way that an option holder is not. Buffett therefore cautions shareholders who are reading proxy statements about approving option plans to be aware of the asymmetry in this kind of alignment. Many shareholders rationally ignore proxy statements, but this subject should really be on the front-burner of shareholders, particularly shareholder institutions that periodically engage in promoting corporate governance improvements.

Buffett emphasizes that performance should be the basis for executive pay decisions. Executive performance should be measured by profitability, after profits are reduced by a charge for the capital employed in the relevant business or earnings retained by it. If stock options are used, they should be related to individual performance, rather than corporate performance, and priced based on business value. Better yet, as at Berkshire, stock options should simply not be part of an executive's compensation. After all, exceptional managers who earn cash bonuses based on the performance of their own business can simply buy stock if they want to; if they do, they "truly walk in the shoes of owners," Buffett says.

CORPORATE FINANCE AND INVESTING

The most revolutionary investing ideas of the past thirty years were those called modern finance theory. This is an elaborate set of ideas that boil down to one simple and misleading practical implication: it is a waste of time to study individual investment opportunities in public securities. According to this view, you will do

better by randomly selecting a group of stocks for a portfolio by throwing darts at the stock tables than by thinking about whether individual investment opportunities make sense.

One of modern finance theory's main tenets is modern portfolio theory. It says that you can eliminate the peculiar risk of any security by holding a diversified portfolio-that is, it formalizes the folk slogan "don't put all your eggs in one basket." The risk that is left over is the only risk for which investors will be compensated, the story goes.

This leftover risk can be measured by a simple mathematical term-called beta-that shows how volatile the security is compared to the market. Beta measures this volatility risk well for securities that trade on efficient markets, where information about publicly traded securities is swiftly and accurately incorporated into prices. In the modern finance story, efficient markets rule.

Reverence for these ideas was not limited to ivory tower academics, in colleges, universities, business schools, and law schools, but became·standard dogma throughout financial America in the past thirty years, from Wall Street to Main Street. Many professionals still believe that stock market prices always accurately reflect fundamental values, that the only risk that matters is the volatility of prices, and that the best way to manage that risk is to invest in a diversified group of stocks.

Being part of a distinguished line of investors stretching back to Graham and Dodd which debunks standard dogma by logic and experience, Buffett thinks most markets are not purely efficient and that equating volatility with risk is a gross distortion. Accordingly, Buffett worried that a whole generation of MBAs and lDs, under the influence of modern finance theory, was at risk of learning the wrong lessons and missing the important ones.

A particularly costly lesson of modern finance theory came from the proliferation of portfolio insurance-a computerized technique for readjusting a portfolio in declining markets. The promiscuous use of portfolio insurance helped precipitate the stock market crash of October 1987, as well as the market break of October 1989. It nevertheless had a silver lining: it shattered the modern finance story being told in business and law schools and faithfully being followed by many on Wall Street. Ensuing market volatility could not be explained by modern finance theory, nor could mountainous other phenomena relating to the behavior of small capitalization stocks, high dividend-yield stocks, and stocks with low price-earnings ratios. Growing numbers of skeptics

emerged to say that beta does not really measure the investment risk that matters, and that capital markets are really not efficient enough to make beta meaningful anyway.

In stirring up the discussion, people started noticing Buffett's record of successful investing and calling for a return to the Graham-Dodd approach to investing and business. After all, for more than forty years Buffett has generated average annual returns of 20% or better, which double the market average. For more than twenty years before that, Ben Graham's Graham-Newman Corp. had done the same thing. As Buffett emphasizes, the stunning performances at Graham-Newman and at Berkshire deserve respect: the sample sizes were significant; they were conducted over an extensive time period, and were not skewed by a few fortunate experiences; no data-mining was involved; and the performances were longitudinal, not selected by hindsight.

Threatened by Buffett's performance, stubborn devotees of modern finance theory resorted to strange explanations for his success. Maybe he is just lucky-the monkey who typed out Hamlet-or maybe he has inside access to information that other investors do not. In dismissing Buffett, modern finance enthusiasts still insist that an investor's best strategy is to diversify based on betas or dart throwing, and constantly reconfigure one's portfolio of investments.

Buffett responds with a quip and some advice: the quip is that devotees of his investment philosophy should probably endow chairs to ensure the perpetual teaching of efficient market dogma; the advice is to ignore modern finance theory and other quasi-sophisticated views of the market and stick to investment knitting. That can best be done for many people through long-term investment in an index fund. Or it can be done by conducting hard-headed analyses of businesses within an investor's competence to evaluate. In that kind of thinking, the risk that matters is not beta or volatility, but the possibility of loss or injury from an investment.

Assessing that kind of investment risk requires thinking about a company's management, products, competitors, and debt levels. The inquiry is whether after-tax returns on an investment are at least equal to the purchasing power of the initial investment plus a fair rate of return. The primary relevant factors are the long-term economic characteristics of a business, the quality and integrity of its management, and future levels of taxation and inflation. Maybe these factors are vague, particularly compared with the seductive

precision of beta, but the point is that judgments about such matters cannot be avoided, except to an investor's disadvantage.

Buffett points out the absurdity of beta by observing that "a stock that has dropped very sharply compared to the market ... becomes 'riskier' at the lower price than it was at the higher price"-that is how beta measures risk. Equally unhelpful, beta cannot distinguish the risk inherent in "a single-product toy company selling pet rocks or hula hoops from another toy company whose sole product is Monopoly or Barbie." But ordinary investors can make those distinctions by thinking about consumer behavior and the way consumer products companies compete, and can also figure out when a huge stock-price drop signals a buying opportunity.

Contrary to modern finance theory, Buffett's investment knitting does not prescribe diversification. It may even call for concentration, if not of one's portfolio, then at least of its owner's mind. As to concentration of the portfolio, Buffett reminds us that Keynes, who was not only a brilliant economist but also a brilliant investor, believed that an investor should put fairly large sums into two or three businesses he knows something about and whose management is trustworthy. On that view, risk rises when investments and investment thinking are spread too thin. A strategy of financial and mental concentration may reduce risk by raising both the intensity of an investor's thinking about a business and the comfort level he must have with its fundamental characteristics before buying it.

The fashion of beta, according to Buffett, suffers from inattention to "a fundamental principle: It is better to be approximately right than precisely wrong." Long-term investment success depends not on studying betas and maintaining a diversified portfolio, but on recognizing that as an investor, one is the owner of a business. Reconfiguring a portfolio by buying and selling stocks to accommodate the desired beta-risk profile defeats long-term investment success. Such "flitting from flower to flower" imposes huge transaction costs in the forms of spreads, fees and commissions, not to mention taxes. Buffett jokes that calling someone who trades actively in the market an investor "is like calling someone who repeatedly engages in one-night stands a romantic." Investment knitting turns modern finance theory's folk wisdom on its head: instead of "don't put all your eggs in one basket," we get Mark Twain's advice from Pudd'nhead Wilson: "Put all your eggs in one basket-and watch that basket."

Buffett learned the art of investing from Ben Graham as a graduate student at Columbia Business School in the 1950s and later working at Graham-Newman. In a number of classic works, including *The Intelligent Investor,* Graham introduced some of the most profound investment wisdom in history. It rejects a prevalent but mistaken mind-set that equates price with value. On the contrary, Graham held that price is what you pay and value is what you get. These two things are rarely identical, but most people rarely notice any difference.

One of Graham's most profound contributions is a character who lives on Wall Street, Mr. Market. He is your hypothetical business partner who is daily willing to buy your interest in a business or sell you his at prevailing market prices. Mr. Market is moody, prone to manic swings from joy to despair. Sometimes he offers prices way higher than value; sometimes he offers prices way lower than value. The more manic-depressive he is, the greater the spread between price and value, and therefore the greater the investment opportunities he offers. Buffett reintroduces Mr. Market, emphasizing how valuable Graham's allegory of the overall market is for disciplined investment knitting-even though Mr. Market would be unrecognizable to modern finance theorists.

Another leading prudential legacy from Graham is his margin-of-safety principle. This principle holds that one should not make an investment in a security unless there is a sufficient basis for believing that the price being paid is substantially lower than the value being delivered. Buffett follows the principle devotedly, noting that Graham had said that if forced to distill the secret of sound investment into three words, they would be: margin of safety. Over forty years after first reading that, Buffett still thinks those are the right words. While modern finance theory enthusiasts cite market efficiency to deny there is a difference between price (what you pay) and value (what you get), Buffett and Graham regard it as all the difference in the world.

That difference also shows that the term "value investing" is a redundancy. All true investing must be based on an assessment of the relationship between price and value. Strategies that do not employ this comparison of price and value do not amount to investing at all, but to speculation-the hope that price will rise, rather than the conviction that the price being paid is lower than the value being obtained. Many professionals make another common mistake, Buffett notes, by distinguishing between "growth in-

vesting" and "value investing." Growth and value, Buffett says, are not distinct. They are integrally linked since growth must be treated as a component of value.

Nor does the phrase "relational investing" resonate with Buffett. The term became popular on Wall Street and in the academy in the mid-1990s, describing a style of investing that is designed to reduce the costs of the separation of shareholder ownership from managerial control by emphasizing shareholder involvement and monitoring of management. Many people incorrectly identified Buffett and Berkshire as exemplars of this descriptive label. It is true that Buffett buys big blocks in a few companies and sticks around a long time. He also only invests in businesses run by people he trusts. But that is about as far as the similarity goes. If Buffett were pressed to use an adjective to describe his investment style, it would be something like "focused" or "intelligent" investing. Yet even these words ring redundant; the unadorned term *investor* best describes Buffett.

Other misuses of terms include blurring the difference between speculation and arbitrage as methods of sound cash management; the latter being very important for companies like Berkshire that generate substantial excess cash. Both speculation and arbitrage are ways to use excess cash rather than hold it in short-term cash equivalents such as commercial paper. Speculation describes the use of cash to bet on lots of corporate events based on rumors of unannounced coming transactions. Arbitrage, traditionally understood to mean exploiting different prices for the same thing on two different markets, for Buffett describes the use of cash to take short-term positions in a few opportunities that have been publicly announced. It exploits different prices for the same thing at different times. Deciding whether to employ cash this way requires evaluating four common-sense questions based on information rather than rumor: the probability of the event occurring, the time the funds will be tied up, the opportunity cost, and the downside if the event does not occur.

In all investment thinking, one must guard against what Buffett calls the "institutional imperative." It is a pervasive force in which institutional dynamics produce resistance to change, absorption of available corporate funds, and reflexive approval of suboptimal CEO strategies by subordinates. Contrary to what is often taught in business and law schools, this powerful force often interferes with rational business decision-making. The ultimate result of the institutional imperative is a follow-the-pack mentality pro-

ducing industry imitators, rather than industry leaders-what Buffett calls a lemming-like approach to business.

All these investment principles are animated in Buffett's lively essays on junk and zero-coupon bonds and preferred stock. Challenging both Wall Street and the academy, Buffett again draws on Graham's ideas to reject the "dagger thesis" advanced to defend junk bonds. The dagger thesis, using the metaphor of the intensified care an automobile driver would take facing a dagger mounted on the steering wheel, overemphasizes the disciplining effect that enormous amounts of debt in a capital structure exerts on management.

Buffett points to the large numbers of corporations that failed in the early 1990s recession under crushing debt burdens to dispute academic research showing that higher interest rates on junk bonds more than compensated for their higher default rates. He attributes this error to a flawed assumption recognizable to any first-year statistics student: that historical conditions prevalent during the study period would be identical in the future. They would not. Further illuminating the folly of junk bonds is an essay in this collection by Charlie Munger that discusses Michael Milken's approach to finance.

Wall Street tends to embrace ideas based on revenue-generating power, rather than on financial sense, a tendency that often perverts good ideas to bad ones. In a history of zero-coupon bonds, for example, Buffett shows that they can enable a purchaser to lock in a compound rate of return equal to a coupon rate that a normal bond paying periodic interest would not provide. Using zero-coupons thus for a time enabled a borrower to borrow more without need of additional free cash flow to pay the interest expense. Problems arose, however, when zero-coupon bonds started to be issued by weaker and weaker credits whose free cash flow could not sustain increasing debt obligations. Buffett laments, "as happens in Wall Street all too often, what the wise do in the beginning, fools do in the end."

The essays on preferred stock show the art of investing at its finest, emphasizing the economic characteristics of businesses, the quality of management, and the difficult judgments that are always necessary, but not always correct.

COMMON STOCK

Buffett recalls that on the day Berkshire listed on the New York Stock Exchange in 1988, he told Jimmy Maguire, the special-

ist in Berkshire stock, "I will consider you an enormous success if the next trade in this stock is about two years from now." While Buffett jokes that Maguire "didn't seem to get enthused about that," he emphasizes that his mind-set when he buys any stock is "if we aren't happy owning a piece of that business with the Exchange closed, we're not happy owning it with the Exchange open." Berkshire and Buffett are investors for the long haul; Berkshire's capital structure and dividend policy prove it.

Unlike many CEOs, who desire their company's stock to trade at the highest possible prices in the market, Buffett prefers Berkshire stock to trade at or around its intrinsic value-neither materially higher nor lower. Such linkage means that business results during one period will benefit the people who owned the company during that period. Maintaining the linkage requires a shareholder group with a collective long-term, business-oriented investment philosophy, rather than a short-term, market-oriented strategy.

Buffett notes Phil Fisher's suggestion that a company is like a restaurant, offering a menu that attracts people with particular tastes. Berkshire's long-term menu emphasizes that the costs of trading activity can impair long-term results. Indeed, Buffett estimates that the transaction costs of actively traded stocks-broker commissions and market-maker spreads-often amount to 10% or more of earnings. Avoiding or minimizing such costs is necessary for long-term investment success, and Berkshire's listing on the New York Stock Exchange helped contain those costs.

Corporate dividend policy is a major capital allocation issue, always of interest to investors but infrequently explained to them. Buffett's essays clarify this subject, emphasizing that "capital allocation is crucial to business and investment management." In early 1998, Berkshire's common stock was priced in the market at over $50,000 per share and the company's book value, earnings, and intrinsic value have steadily increased well in excess of average annual rates. Yet the company has never effected a stock split, and has not paid a cash dividend in three decades.

Apart from reflecting the long-term menu and minimization of transaction costs, Berkshire's dividend policy also reflects Buffett's conviction that a company's earnings payout versus retention decision should be based on a single test: each dollar of earnings should be retained if retention will increase market value by at least a like amount; otherwise it should be paid out. Earnings retention is justified only when "capital retained produces incremental earnings equal to, or above, those generally available to investors."

Like many of Buffett's simple rules, this one is often ignored by corporate managers, except of course when they make dividend decisions for their subsidiaries. Earnings are often retained for non-owner reasons, such as expanding the corporate empire or furnishing operational comfort for management.

Things are so different at Berkshire, Buffett said at the symposium, that under his test Berkshire "might distribute more than 100% of the earnings," to which Charlie Munger chimed in "You're damn right." That has not been necessary, however, for throughout Buffett's stewardship at Berkshire, opportunities for superior returns on capital have been discovered, and exploited.

Stock splits are another common action in corporate America that Buffett points out disserve owner interests. Stock splits have three consequences: they increase transaction costs by promoting high share turnover; they attract shareholders with short-term, market-oriented views who unduly focus on stock market prices; and, as a result of both of those effects, they lead to prices that depart materially from intrinsic business value. With no offsetting benefits, splitting Berkshire's stock would be foolish. Not only that, Buffett adds, it would threaten to reverse three decades of hard work that has attracted to Berkshire a shareholder group comprised of more focused and long-term investors than probably any other major public corporation.

Two important consequences have followed from Berkshire's high stock price and its dividend policy. First, the extraordinarily high share price impaired the ability of Berkshire shareholders to effect gifts of their equity interest to family members or friends, though Buffett has offered a few sensible strategies like bargain sales to donees to deal with that. Second, Wall Street engineers tried to create securities that would purport to mimic Berkshire's performance and that would be sold to people lacking an understanding of Berkshire, its business, and its investment philosophy.

In response to these consequences, Buffett and Berkshire did an ingenious thing. In mid-1996, Berkshire effected a recapitalization by creating a new class of stock, called the Class B shares, and sold it to the public. The Class B shares have 1I30th the rights of the existing Class A shares, except with respect to voting rights they have 1/200th of those of the A shares; and the Class B shares are not eligible to participate in the Berkshire charitable contributions program. Accordingly, the Class B shares should (and do) trade somewhere in the vicinity of 1I30th of the market price of the Class A shares.

The Class A shares are convertible into Class B shares, giving Berkshire shareholders a do-it-yourself mechanism to effect a stock-split to facilitate gift giving and so on. More importantly, the Berkshire recapitalization would halt the marketing of Berkshire clones that contradict all the basic principles Buffett believes in. These clones-investment trusts that would buy and sell Berkshire shares according to demand for units in the trust-would have imposed costs on shareholders. If held by people who do not understand Berkshire's business or philosophy, they would have caused spikes in Berkshire's stock price, producing substantial deviations between price and value.

The Class B shares are designed to be attractive only to investors who share Buffett's philosophy of focused investing. For example, in connection with the offering of the Class B shares, Buffett and Munger emphasized that Berkshire stock was, at that time, not undervalued in the market. They said that neither of them would buy the Class A shares at the market price nor the Class B shares at the offering price. The message was simple: do not buy these securities unless you are prepared to hold them for the long term. The effort to attract only long-term investors to the Class B shares appears to have worked: trading volume in the shares after the offering was far below average for Big Board stocks.

Some expressed surprise at Buffett and Munger's cautionary statement, since most managers tell the market that newly-issued equity in their companies is being offered at a very good price. You should not be surprised by Buffett and Munger's disclosure, however. A company that sells its stock at a price less than its value is stealing from its existing shareholders. Quite plausibly, Buffett considers that a crime.

MERGERS AND ACQUISITIONS

Berkshire's acquisition policy is the double-barreled approach: buying portions or all of businesses with excellent economic characteristics and run by managers Buffett and Munger like, trust, and admire. Contrary to common practice, Buffett argues that in buying all of a business, there is rarely any reason to pay a premium.

The rare cases involve businesses with franchise characteristics-those that can raise prices rather easily and only require incremental capital investment to increase sales volume or market share. Even ordinary managers can operate franchise businesses to generate high returns on capital. The second category of rare cases

is where extraordinary managers exist who can achieve the difficult feat of identifying underperforming businesses, and apply extraordinary talent to unlock hidden value.

These two categories are extremely limited, and certainly do not explain the hundreds of high-premium takeovers that occur annually. Buffett attributes high-premium takeovers outside those unusual categories to three motives of buying-managers: the thrill of an acquisition, the thrill of enhanced size, and excessive optimism about synergies.

In paying for acquisitions, Berkshire issues stock only when it receives as much in business value as it gives. Many other buyers, when not using cash or debt, violate this simple rule. Buffett notes that sellers in stock acquisitions measure the purchase price by the market price of the buyer's stock, not by its intrinsic value. If a buyer's stock is trading at a price equal to, say, half its intrinsic value, then a buyer who goes along with that measure gives twice as much in business value as it is getting. Its manager, usually rationalizing his or her actions by arguments about synergies or size, is elevating thrill or excessive optimism above shareholder interests.

Moreover, acquisitions paid for in stock are too often (almost always) described as "buyer buys seller" or "buyer acquires seller." Buffett suggests clearer thinking would follow from saying "buyer sells part of itself to acquire seller," or something of the sort. After all, that is what is happening; and it would enable one to evaluate what the buyer is giving up to make the acquisition.

If the worst thing to do with undervalued stock is to use it to pay for an acquisition, the best thing is to buy it back. Obviously, if a stock is selling in the market at half its intrinsic value, the company can buy $2 in value by paying $1 in cash. There would rarely be better uses of capital than that. Yet many more undervalued shares are paid to effect value-destroying stock acquisitions than are repurchased in value-enhancing stock buy-backs.

In contrast to sensible repurchases of undervalued stock, which serve owner interests, Buffett condemns management repurchases from individuals at premium prices to fend off unwanted acquisition overtures. Buffett forcibly shows that this practice of greenmail is simply another form of corporate robbery.

Nearly as reprehensible, a second Charlie Munger essay in this collection explains, were the cascades of leveraged buy-outs in the 1980s. Permissive laws made LBOs hugely profitable, Munger tells us, but the LBOs weakened corporations, put a heavy premium on

cash generation to pay for enormous debt obligations, and raised the average cost of acquisitions.

Value-enhancing acquisitions are hard enough to find without the added burden of higher average costs for all of them. Indeed, most acquisitions are value-decreasing, Buffett says. Finding the best value-enhancing transactions requires concentrating on opportunity costs, measured principally against the alternative of buying small pieces of excellent businesses through stock market purchases. Such concentration is alien to the manager obsessed with synergies and size, but a vital part of Berkshire's double-barreled investment approach.

Berkshire has additional advantages in acquisitions: a high quality stock to pay with and a substantial amount of managerial autonomy to offer once a deal is done-both rare in an acquiring company, Buffett says. Buffett also puts his money where his mouth is, reminding prospective sellers that Berkshire has acquired many of its businesses from family or other closely-held groups, and inviting them to check with every previous seller about Berkshire's initial promises measured against its later actions.

ACCOUNTING AND TAXATION

Buffett's essays provide an entertaining and illuminating tutorial on understanding and using financial information. In dissecting significant aspects of generally accepted accounting principles (GAAP), Buffett shows both their importance and limits in understanding any business or investment. Buffett demystifies key topics that highlight the important differences between accounting earnings and economic earnings, between accounting goodwill and economic goodwill, and between accounting book value and intrinsic value. These are essential tools for any investor's or manager's valuation toolbox.

The most basic point to understand about accounting is that it is a form. As a form, it can be manipulated. Buffett shows just how severe the manipulation can be with a satire written by Ben Graham in the 1930s. The advanced bookkeeping methods Graham presents enable his phantom US Steel to report "phenomenally enhanced" earnings without cash outlays or changes in operating conditions or sales. Except in its lampooning spirit, Graham's illustration of accounting chicanery is not all that different from what is often seen coming out of corporate America.

Buffett emphasizes that useful financial statements must enable a user to answer three basic questions about a business: ap-

proximately how much a company is worth, its likely ability to meet its future obligations, and how good a job its managers are doing in operating the business. Buffett laments that GAAP conventions make these determinations difficult, and indeed almost any accounting system will be hard pressed to furnish completely accurate answers given the complexities of business. Acknowledging the monumental difficulty of inventing an accounting system superior to GAAP, Buffett articulates a range of concepts that go a longer way toward making financial information useful to investors and managers.

Consider a concept Buffett calls "look-through earnings." GAAP investment accounting calls for using the consolidation method for majority-owned equity, which means full reporting of all line items from the investee's financial statements on the parent's. For equity investments from 20% to 50%, GAAP calls for reporting the investor's proportionate share of earnings of the investee on its statements; for investments of less than 20%, GAAP provides that only dividends actually received by the investor be recorded, rather than any share of the investee's earnings. These accounting rules obscure a major factor in Berkshire's economic performance: the earnings generated by its investee companies are an enormous part of Berkshire's value, but would not be reported on its financial statements prepared using GAAP.

Recognizing that it is not the size of an equity investment that determines its value, but how the undistributed earnings are deployed, Buffett develops the concept of look-through earnings to gauge Berkshire's economic performance. Look-through earnings add to Berkshire's own net earnings the undistributed earnings in investee companies, less an incremental amount for taxes. Look-through earnings are not different from GAAP earnings for many businesses. But they are for Berkshire and probably are for many individual investors. Accordingly, individuals can adopt a similar approach for their own portfolios and try to design a portfolio that delivers the highest possible look-through earnings over the long term.

The difference between accounting goodwill and economic goodwill is well-known, but Buffett's lucidity makes the subject refreshing. Accounting goodwill is essentially the amount by which the purchase price of a business exceeds the fair value of the assets acquired (after deducting liabilities). It is recorded as an asset on the balance sheet and then amortized as an annual expense, usually

over forty years. So the accounting goodwill assigned to that business decreases over time by the aggregate amount of that expense.

Economic goodwill is something else. It is the combination of intangible assets, like brand name recognition, that enable a business to produce earnings on tangible assets, like plant and equipment, in excess of average rates. The amount of economic goodwill is the capitalized value of that excess. Economic goodwill tends to increase over time, at least nominally in proportion to inflation for mediocre businesses, and more than that for businesses with solid economic or franchise characteristics. Indeed, businesses with more economic goodwill relative to tangible assets are hurt far less by inflation than businesses with less of that.

These differences between accounting goodwill and economic goodwill entail the following insights. First, the best guide to the value of a business's economic goodwill is what it can earn on unleveraged net tangible assets, excluding charges for amortization of goodwill. Therefore when a business acquires other businesses, and the acquisitions are reflected in an asset account called goodwill, analysis of that business should ignore the amortization charges. Second, since economic goodwill should be measured at its full economic cost, i.e., before amortization, evaluation of a possible business acquisition should be conducted without regard to those amortization charges as well.

Buffett emphasizes, however, that the same does not hold for depreciation charges-these should not be ignored because they are real economic costs. He makes this point in explaining why Berkshire always shows its shareholders the results of operations with respect to acquired businesses net of any purchase price adjustments GAAP requires.

It is common on Wall Street to value businesses using a calculation of cash flows equal to *(a)* operating earnings plus *(b)* depreciation expense and other non-cash charges. Buffett regards that calculation as incomplete. After taking *(a)* operating earnings and adding back *(b)* non-cash charges, Buffett argues that you must then subtract something else: *(c)* required reinvestment in the business. Buffett defines *(c)* as "the average amount of capitalized expenditures for plant and equipment, etc., that the business requires to fully maintain its long-term competitive position and its unit volume." Buffett calls the result of *(a)* + *(b)* - *(c)* "owner earnings."

When *(b)* and *(c)* differ, cash flow analysis and owner earnings analysis differ too. For most businesses, *(c)* usually exceeds *(b),* so cash flow analysis usually overstates economic reality. In all cases

where (c) differs from *(b),* calculation of owner earnings enables one to appraise performance more accurately than would analysis of GAAP earnings, or cash flows affected by purchase price accounting adjustments. That is why Berkshire supplementally reports owner earnings for its acquired businesses, rather than rely solely on GAAP earnings figures, or cash flow figures.

A final example of Buffett's specialized toolkit is intrinsic value, "the discounted value of the cash that can be taken out of a business during its remaining life." Though simple to state, calculating intrinsic value is neither easy nor objective. It depends on estimation of both future cash flows and interest rate movements. But it is what ultimately matters about a business. Book value, in contrast, is easy to calculate, but of limited use. So too with market price, at least for most companies. Differences between intrinsic value and book value and market price may be hard to pin down. They can go either way, but there will almost certainly be differences.

GAAP has enough trouble. Yet two groups of people make it worse: those who try to overcome GAAP requirements by stretching their accounting imagination, and those who deliberately employ GAAP to facilitate financial fraud. The former is especially hard to deal with, as Buffett suggests in illustrating how debate on accounting for retiree benefits and stock options revealed the parochialism of many executives and accountants. For example, criticizing the view against treating stock options as expenses when granted, Buffett delivers this laconic argument: "If options aren't a form of compensation, what are they? If compensation isn't an expense, what is? And, if expenses shouldn't go into the calculation of earnings, where in the world should they go?"

Parochial positions on accounting can be economically disastrous, as the debate over accounting for retiree health care benefits attests. Until 1992, businesses that promised to pay for health care services to retired employees were not required by GAAP to record the associated obligation as a liability on their balance sheets. It thus made it easy to make such financial commitments, and many businesses made far more generous commitments to cover retiree health benefits than they would have had they been required to report the obligation. One consequence was a wave of bankruptcies, as businesses failed to meet their mounting and maturing obligations.

One clear lesson from Buffett's discussions of financial information is that accounting has inherent limits, even though it is ab-

solutely essential. Despite enormous managerial leeway in reporting earnings and potential abuse, financial information can be of great use to investors. Buffett uses it every day, and has allocated billions of dollars doing it. So it is possible to make important investment decisions on the basis of available financial information if one exercises knowledgeable judgment. That judgment may include making adjustments to determine look-through earnings, owner earnings, and intrinsic value, and to show the real costs of stock options or other obligations that GAAP does not require to be recorded on the financial statements.

Bringing this collection full circle, the concluding essays note the obvious but often overlooked tax advantages of long-term investment. Linking life's two certainties, the final essay includes one of Buffett's many jokes about his personal longevity: if enjoying life promotes longevity, he is jeopardizing Methuselah's record (969 years). At the symposium featuring this collection, someone asked what effect Buffett's death would have on Berkshire stock. Another answered, "a negative effect." Without missing a beat, Buffett quipped: "It won't be as negative for the holders as it will be for me."

The prominence of accounting discussions in Buffett's essays underscores that accounting policy and accounting decisions matter. That position is supported by Graham-Dodd fundamental valuation analysis. Yet it conflicts with modern finance theory's view that efficient markets will pierce accounting conventions to produce prices equal to values, and it also goes against the grain of what many MBA and JD students have been taught in the past few decades.

Buffett's essays can reeducate a generation of students, and continue the education of others. That is important because the gospel of modern finance theory that swept America in the past thirty years is still commonly preached. A lemming-like willingness to follow the crowd endures. Entailing the destruction of both leadership and independent thought, that weakness is the intellectual foe in the struggle Buffett's essays wage for intelligent and focused investing. While the battle remains to be won, this compendium is intended to aid in the quest.

PROLOGUE[1]

In some ways, our shareholder group is a rather unusual one, and this affects our manner of reporting to you. For example, at the end of each year about 98% of the shares outstanding are held by people who also were shareholders at the beginning of the year. Therefore, in our annual report we build upon what we have told you in previous years instead of restating a lot of material. You get more useful information this way, and we don't get bored.

Furthermore, perhaps 90% of our shares are owned by investors for whom Berkshire is their largest security holding, very often far and away the largest. Many of these owners are willing to spend a significant amount of time with the annual report, and we attempt to provide them with the same information we would find useful if the roles were reversed.

In contrast, we include no narrative with our quarterly reports. Our owners and managers both have very long time-horizons in regard to this business, and it is difficult to say anything new or meaningful each quarter about events of long-term significance.

But when you do receive a communication from us, it will come from the fellow you are paying to run the business. Your Chairman has a firm belief that owners are entitled to hear directly from the CEO as to what is going on and how he evaluates the business, currently and prospectively. You would demand that in a private company; you should expect no less in a public company. A once-a-year report of stewardship should not be turned over to a staff specialist or public relations consultant who is unlikely to be in a position to talk frankly on a manager-to-owner basis.

We feel that you, as owners, are entitled to the same sort of reporting by your managers as we feel is owed to us at Berkshire Hathaway by managers of our business units. Obviously, the degree of detail must be different, particularly where information would be useful to a business competitor or the like. But the general scope, balance, and level of candor should be similar. We don't expect a public relations document when our operating managers tell us what is going on, and we don't feel you should receive such a document.

In large part, companies obtain the shareholder constituency that they seek and deserve. If they focus their thinking and communications on short-term results or short-term stock market con-

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1 [1979. Footnotes throughout indicate the year of the annual report from which essays are taken.]

sequences they will, in large part, attract shareholders who focus on the same factors. And if they are cynical in their treatment of investors, eventually that cynicism is highly likely to be returned by the investment community.

Phil Fisher, a respected investor and author, once likened the policies of the corporation in attracting shareholders to those of a restaurant attracting potential customers. A restaurant could seek a given clientele-patrons of fast foods, elegant dining, Oriental food, etc.-and eventually obtain an appropriate group of devotees. If the job were expertly done, that clientele, pleased with the service, menu, and price level offered, would return consistently. But the restaurant could not change its character constantly and end up with a happy and stable clientele. If the business vacillated between French cuisine and take-out chicken, the result would be a revolving door of confused and dissatisfied customers.

So it is with corporations and the shareholder constituency they seek. You can't be all things to all men, simultaneously seeking different owners whose primary interests run from high current yield to long-term capital growth to stock market pyrotechnics, etc.

The reasoning of managements that seek large trading activity in their shares puzzles us. In effect, such managements are saying that they want a good many of the existing clientele continually to desert them in favor of new ones-because you can't add lots of new owners (with new expectations) without losing lots of former owners.

We much prefer owners who like our service and menu and who return year after year. It would be hard to find a better group to sit in the Berkshire Hathaway shareholder "seats" than those already occupying them. So we hope to continue to have a very low turnover among our owners, reflecting a constituency that understands our operation, approves of our policies, and shares our expectations. And we hope to deliver on those expectations.

I. CORPORATE GOVERNANCE

Many annual meetings are a waste of time, both for shareholders and for management. Sometimes that is true because management is reluctant to open up on matters of business substance. More often a non-productive session is the fault of shareholder participants who are more concerned about their own moment on stage than they are about the affairs of the corporation. What should be a forum for business discussion becomes a forum for theatrics, spleen-venting and advocacy of issues. (The deal is irresistible: for the price of one share you get to tell a captive audience your ideas as to how the world should be run.) Under such circumstances, the quality of the meeting often deteriorates from year to year as the antics of those interested in themselves discourage attendance by those interested in the business.

Berkshire's meetings are a different story. The number of shareholders attending grows a bit each year and we have yet to experience a silly question or an ego-inspired commentary.2 Instead, we get a wide variety of thoughtful questions about the business. Because the annual meeting is the time and place for these, Charlie and I are happy to answer them all, no matter how long it takes. (We cannot, however, respond to written or phoned questions at other times of the year; one-person-at-a-time reporting is a poor use of management time in a company with 3,000 shareholders.)3 The only business matters that are off limits at the annual meeting are those about which candor might cost our company real money. Our activities in securities would be the main example.[4]

A. *Owner-Related Business Principles*[5]

1. *Although our form is corporate, our attitude is partnership. Charlie Munger and I think of our shareholders as owner-partners, and of ourselves as managing partners. (Because of the size of our shareholdings we are also, for better or worse, controlling partners.) We do not view the company itself as the ultimate owner of our business assets but instead view the company as a conduit through which our shareholders own the assets.*

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2 [Subsequent letters sometimes report on the turnout at prior annual meetings. The turnout went from 12 at the 1975 meeting to approximately 7,500 at the 1997 meeting, with steady increases since 1984 averaging about 40% annually.]

3 [As of 1996, Berkshire Hathaway had 80,000 shareholders.]

4 [Two introductory paragraphs, 1984.]

5 [1996 Owner's Manual-originally 1983, and annually from 1988-96.]

Charlie and I hope that you do not think of yourself as merely owning a piece of paper whose price wiggles around daily and that is a candidate for sale when some economic or political event makes you nervous. We hope you instead visualize yourself as a part owner of a business that you expect to stay with indefinitely, much as you might if you owned a farm or apartment house in partnership with members of your family. For our part, we do not view Berkshire shareholders as faceless members of an ever-shifting crowd, but rather as co-venturers who have entrusted their funds to us for what may well turn out to be the remainder of their lives.

The evidence suggests that most Berkshire shareholders have indeed embraced this long-term partnership concept. The annual percentage turnover in Berkshire's shares is a small fraction of that occurring in the stocks of other major American corporations, even when the shares I own are excluded from the calculation.

In effect, our shareholders behave in respect to their Berkshire stock much as Berkshire itself behaves in respect to companies in which it has an investment. As owners of, say, Coca-Cola or Gillette shares, we think of Berkshire as being a non-managing partner in two extraordinary businesses, in which we measure our success by the long-term progress of the companies rather than by the month-to-month movements of their stocks. In fact, we would not care in the least if several years went by in which there was no trading, or quotation of prices, in the stocks of those companies. If we have good long-term expectations, short-term price changes are meaningless for us except to the extent they offer us an opportunity to increase our ownership at an attractive price.

2. In line with Berkshire's owner-orientation, most of our directors have a major portion of their net worth invested in the company. We eat our own cooking.

Charlie's family has 90% or more of its net worth in Berkshire shares; my wife, Susie, and I have more than 99%. In addition, many of my relatives-my sisters and cousins, for example-keep a huge portion of their net worth in Berkshire stock.

Charlie and I feel totally comfortable with this eggs-in-one-basket situation because Berkshire itself owns a wide variety of truly extraordinary businesses. Indeed, we believe that Berkshire is close to being unique in the quality and diversity of the businesses in which it owns either a controlling interest or a minority interest of significance.

Charlie and I cannot promise you results. But we can guarantee that your financial fortunes will move in lockstep with ours for whatever period of time you elect to be our partner. We have no interest in large salaries or options or other means of gaining an "edge" over you. We want to make money only when our partners do and in exactly the same proportion. Moreover, when I do something dumb, I want you to be able to derive some solace from the fact that my financial suffering is proportional to yours.

3. Our long-term economic goal (subject to some qualifications mentioned later) is to maximize Berkshire's average annual rate of gain in intrinsic business value on a per-share basis. We do not measure the economic significance or performance of Berkshire by its size; we measure by per-share progress. We are certain that the rate of per-share progress will diminish in the future-a greatly enlarged capital base will see to that. But we will be disappointed if our rate does not exceed that of the average large American corporation.

Since that was written at yearend 1983, our intrinsic value (a topic I'll discuss a bit later)6 has increased at an annual rate of about 25%, a pace that has definitely surprised both Charlie and me. Nevertheless the principle just stated remains valid: Operating with large amounts of capital as we do today, we cannot come close to performing as well as we once did with much smaller sums. The best rate of gain in intrinsic value we can even hope for is an average of 15% per annum, and we may well fall far short of that target. Indeed, we think very few large businesses have a chance of compounding intrinsic value at 15% per annum over an extended period of time. So it may be that we will end up meeting our stated goal-being above average-with gains that fall significantly short of 15%.

4. Our preference would be to reach our goal by directly owning a diversified group of businesses that generate cash and consistently earn above-average returns on capital. Our second choice is to own parts of similar businesses, attained primarily through purchases of marketable common stocks by our insurance subsidiaries. The price and availability of businesses and the need for insurance capital determine any given year's capital allocation.

As has usually been the case, it is easier today to buy small pieces of outstanding businesses via the stock market than to buy similar businesses in their entirety on a negotiated basis. Neverthe-

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6 [*See* the essay Intrinsic Value, Book Value, and Market Price in Part V.E.]

less, we continue to prefer the 100% purchase, and in some years we get lucky: In 1995, in fact, we made three acquisitions. Though there will be dry years also, we expect to make a number of acquisitions in the decades to come, and our hope is that they will be large. If these purchases approach the quality of those we have made in the past, Berkshire will be well served.

The challenge for us is to generate ideas as rapidly as we generate cash. In this respect, a depressed stock market is likely to present us with significant advantages. For one thing, it tends to reduce the prices at which entire companies become available for purchase. Second, a depressed market makes it easier for our insurance companies to buy small pieces of wonderful businesses-including additional pieces of business we already own-at attractive prices. And third, some of those same wonderful businesses, such as Coca-Cola and Wells Fargo, are consistent buyers of their own shares, which means that they, and we, gain from the cheaper prices at which they can buy.

Overall, Berkshire and its long-term shareholders benefit from a sinking stock market much as a regular purchaser of food benefits from declining food prices. So when the market plummets-as it will from time to time-neither panic nor mourn. It's good news for Berkshire.

5. Because of our two-pronged approach to business ownership and because of the limitations of conventional accounting, consolidated reported earnings may reveal relatively little about our true economic performance. Charlie and I, *both as owners and managers, virtually ignore such consolidated numbers. However, we will also report to you the earnings of each major business we control, numbers we consider of great importance. These figures, along with other information we will supply about the individual businesses, should generally aid you in making judgments about them.*

To state things simply, we try to give you in the annual report the numbers and other information that really matter. Charlie and I pay a great deal of attention to how well our businesses are doing, and we also work to understand the environment in which each business is operating. For example, is one of our businesses enjoying an industry tailwind or is it facing a headwind? Charlie and I need to know exactly which situation prevails and to adjust our expectations accordingly. We will also pass along our conclusions to you.

Over time, practically all of our businesses have exceeded our expectations. But occasionally we have disappointments, and we

will try to be as candid in informing you about those as we are in describing the happier experiences. When we use unconventional measures to chart our progress . . . we will try to explain these concepts and why we regard them as important. In other words, we believe in telling you how we think so that you can evaluate not only Berkshire's businesses but also assess our approach to management and capital allocation.

6. Accounting consequences do not influence our operating or capital-allocation decisions. When acquisition costs are similar, we much prefer to purchase $2 *of earnings that is not reportable by us under standard accounting principles than to purchase* $1 *of earnings that is reportable. This is precisely the choice that often faces us since entire businesses (whose earnings will be fully reportable) frequently sell for double the pro-rata price of small portions (whose earnings will be largely unreportable). In aggregate and over time, we expect the unreported earnings to be fully reflected in our intrinsic business value through capital gains.*

We attempt to offset the shortcomings of conventional accounting by regularly reporting "look-through" earnings .... The look-through numbers include Berkshire's own reported operating earnings, excluding capital gains and purchase-accounting adjustments (an explanation of which occurs later in this message) plus Berkshire's share of the undistributed earnings of our major investees-amounts that are not included in Berkshire's figures under conventional accounting. From these undistributed earnings of our investees we subtract the tax we would have owed had the earnings been paid to us as dividends. We also exclude capital gains, purchase-accounting adjustments and extraordinary charges or credits from the investee numbers.

We have found over time that the undistributed earnings of our investees, in aggregate, have been as fully as beneficial to Berkshire asif they had been distributed to us (and therefore had been included in the earnings we officially report). This pleasant result has occurred because most of our investees are engaged in truly outstanding businesses that can often employ incremental capital to great advantage, either by putting it to work in their businesses or by repurchasing their shares. Obviously, every capital decision that our investees have made has not benefitted us as shareholders, but overall we have garnered far more than a dollar of value for each dollar they have retained. We consequently regard look-through earnings as realistically portraying our yearly gain from operations.

In 1992, our look-through earnings were $604 million, and in that same year we set a goal of raising them by an average of 15% per annum to $1.8 billion in the year 2000. Since that time, however, we have issued additional shares-including the B Shares sold recently-so that we now need look-through earnings of $1.9 billion in 2000 to match the per-share goal we originally were shooting for. This is a tough target but one we still hope to hit.

7. We use debt sparingly and, when we do borrow, we attempt to structure our loans on a long-term fixed-rate basis. We will reject interesting opportunities rather than over-leverage our balance sheet. This conservatism has penalized our results but it is the only behavior that leaves us comfortable, considering our fiduciary obligations to policyholders, lenders and the many equity holders who have committed unusually large portions of their net worth to our care. (As one of the Indianapolis "500" winners said: "To finish first, you must first finish.")

The financial calculus that Charlie and I employ would never permit our trading a good night's sleep for a shot at a few extra percentage points of return. I've never believed in risking what my family and friends have and need in order to pursue what they don't have and don't need.

Besides, Berkshire has access to two low-cost, non-perilous sources of leverage that allow us to safely own far more assets than our equity capital alone would permit: deferred taxes and "float," the funds of others that our insurance business holds because it receives premiums before needing to payout losses. Both of these funding sources have grown rapidly and now total about $12 billion.

Better yet, this funding to date has been cost-free. Deferred tax liabilities bear no interest. And as long as we can break even in our insurance underwriting-which we have done, on the average, during our 29 years in the business-the cost of the float developed from that operation is zero. Neither item, it should be understood, is equity; these are real liabilities. But they are liabilities without covenants or due dates attached to them. In effect, they give us the benefit of debt-an ability to have more assets working for us-but saddle us with none of its drawbacks.

Of course, there is no guarantee that we can obtain our float in the future at no cost. But we feel our chances of attaining that goal are as good as those of anyone in the insurance business. Not only have we reached the goal in the past (despite a number of important mistakes by your Chairman), but have now, with our acquisi-

tion of GEICO, materially improved our prospects for getting there in the future.

8. A managerial "wish list" will not be filled at shareholder expense. We will not diversify by purchasing entire businesses at control prices that ignore long-term economic consequences to our shareholders. We will only do with your money what we would do with our own, weighing fully the values you can obtain by diversifying your own portfolios through direct purchases in the stock market.

Charlie and I are interested only in acquisitions that we believe will raise the *per-share* intrinsic value of Berskhire's stock. The size of our paychecks or our offices will never be related to the size Berkshire's balance sheet.

9. We feel noble intentions should be checked periodically against results. We test the wisdom of retaining earnings by assessing whether retention, over time, delivers shareholders at least $1 *of market value for each* $1 *retained. To date, this test has been met. We will continue to apply it on a five-year rolling basis. As our net worth grows, it is more difficult to use retained earnings wisely.*

We continue to pass the test, but the challenges of doing so have grown more difficult. If we reach the point that we can't create extra value by retaining earnings, we will pay them out and let our shareholders deploy the funds.

10. We will issue common stock only when we receive as much in business value as we give. This rule applies to all forms of issuance-not only mergers or public stock offerings, but stock-for-debt swaps, stock options, and convertible securities as well. We will not sell small portions of your company-and that is what the issuance of shares amounts to-on a basis inconsistent with the value of the entire enterprise.

When we sold the Class B shares, we stated that Berkshire stock was not undervalued-and some people found that shocking. That reaction was not well-founded. Shock should have registered instead had we issued shares when our stock *was* undervalued. Managements that say or imply during a public offering that their stock is undervalued are usually being economical with the truth or uneconomical with their existing shareholders' money: Owners unfairly lose if their managers deliberately sell assets for 80¢ that in fact are worth $1. We didn't commit that kind of crime in our recent offering and we never will.

11. You should be fully aware of one attitude Charlie and I share that hurts our financial performance: Regardless of price, we

have no interest at all in selling any good businesses that Berkshire owns. We are also very reluctant to sell sub-par businesses as long as we expect them to generate at least some cash and as long as we feel good about their managers and labor relations. We hope not to repeat the capital-allocation mistakes that led us into such sub-par businesses. And we react with great caution to suggestions that our poor businesses can be restored to satisfactory profitability by major capital expenditures. (The projections will be dazzling and the advocates sincere, but, in the end, major additional investment in a terrible industry usually is about as rewarding as struggling in quicksand.) Nevertheless, gin rummy managerial behavior (discard your least promising business at each turn) is not our style. We would rather have our overall results penalized a bit than engage in that kind of behavior.

We continue to avoid gin rummy behavior. True, we closed our textile business in the mid-1980's after 20 years of struggling with it, but only because we felt it was doomed to run never-ending operating losses. We have not, however, given thought to selling operations that would command very fancy prices nor have we dumped our laggards, though we focus hard on curing the problems that cause them to lag.

12. We will be candid in our reporting to you, emphasizing the pluses and minuses important in appraising business value. Our guideline is to tell you the business facts that we would want to know if our positions were reversed. We owe you no less. Moreover, as a company with a major communications business, it would be inexcusable for us to apply lesser standards of accuracy, balance and incisiveness when reporting on ourselves than we would expect our news people to apply when reporting on others. We also believe candor benefits us as managers: The CEO who misleads others in public may eventually mislead himself in private.

At Berkshire you will find no "big bath" accounting maneuvers or restructuring. And we won't "smooth" quarterly or annual results: If earnings figures are lumpy when they reach headquarters, they will be lumpy when they reach you. Finally, when the numbers are a very rough "guesstimate," as they necessarily must be in insurance reserving, we will try to be both consistent and conservative in our approach.

We will be communicating with you in several ways. Through the annual report, I try to give all shareholders as much value-defining information as can be conveyed in a document kept to reasonable length. We also try to convey a liberal quantity of

condensed but important information in our quarterly reports, though I don't write those (one recital a year is enough). Still another important occasion for communication is our Annual Meeting, at which Charlie and I are delighted to spend five hours or more answering questions about Berkshire. But there is one way we *can't* communicate: on a one-on-one basis. That isn't feasible given Berkshire's many thousands of owners.

In all of our communications, we try to make sure that no single shareholder gets an edge: We do not follow the usual practice of giving earnings "guidance" to analysts or large shareholders. Our goal is to have all of our owners updated at the same time.

13. Despite our policy of candor we will discuss our activities in marketable securities only to the extent legally required. Good investment ideas are rare, valuable and subject to competitive appropriation just as good product or business acquisition ideas are. Therefore we normally will not talk about our investment ideas. This ban extends even to securities we have sold (because we may purchase them again) and to stocks we are incorrectly rumored to be buying. If we deny those reports but say "no comment" on other occasions, the no-comments become confirmation.

Though we continue to be unwilling to talk about specific stocks, we freely discuss our business and investment philosophy. I benefitted enormously from the intellectual generosity of Ben Graham, the greatest teacher in the history of finance, and I believe it appropriate to pass along what I learned from him, even if that creates new and able investment competitors for Berkshire just as Ben's teachings did for him.

AN ADDED PRINCIPLE

To the extent possible, we would like each Berkshire shareholder to record a gain or loss in market value during his period of ownership that is proportional to the gain or loss in per-share intrinsic value recorded by the company during that holding period. For this to come about, the relationship between the intrinsic value and the market price of a Berkshire share would need to remain constant, and by our preferences at I-to-l. As that implies, we would rather see Berkshire's stock price at a **fair** level than a **high** level. Obviously, Charlie and I can't control Berkshire's price. But by our policies and communications, we can encourage informed, rational behavior by owners that, in turn, will tend to produce a stock price that is also rational. Our it's-as-bad-to-be-overvalued-as-to-be-undervalued approach may disappoint some shareholders, par-

ticularly those poised to sell. We believe, however, that it affords Berkshire the best prospect of attracting long-term investors who seek to profit from the progress of the company rather than from the investment mistakes of their partners.

B. *Boards and Managers*[7]

[The performance of CEOs of investee companies], which we have observed at close range, contrasts vividly with that of many CEOs, which we have fortunately observed from a safe distance. Sometimes these CEOs clearly do not belong in their jobs; their positions, nevertheless, are usually secure. The supreme irony of business management in that it is far easier for an inadequate CEO to keep his job than it is for an inadequate subordinate.

If a secretary, say, is hired for a job that requires typing ability of at least 80 words a minute and turns out to be capable of only 50 words a minute, she will lose her job in no time. There is a logical standard for this job; performance is easily measured; and if you can't make the grade, you're out. Similarly, if new sales people fail to generate sufficient business quickly enough, they will be let go. Excuses will not be accepted as a substitute for orders.

However, a CEO who doesn't perform is frequently carried indefinitely. One reason is that performance standards for his job seldom exist. When they do, they are often fuzzy or they may be waived or explained away, even when the performance shortfalls are major and repeated. At too many companies, the boss shoots the arrow of managerial performance and then hastily paints the bullseye around the spot where it lands.

Another important, but seldom recognized, distinction between the boss and the foot soldier is that the CEO has no immediate superior whose performance is itself getting measured. The sales manager who retains a bunch of lemons in his sales force will soon be in hot water himself. It is in his immediate self-interest to promptly weed out his hiring mistakes. Otherwise, he himself may be weeded out. An office manager who has hired inept secretaries faces the same imperative.

But the CEO's boss is a Board of Directors that seldom measures itself and is infrequently held to account for substandard corporate performance. If the Board makes a mistake in hiring, and perpetuates that mistake, so what? Even if the company is taken over because of the mistake, the deal will probably bestow substan-

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7 [Divided by hash lines: 1988; 1993; 1986.]

tial benefits on the outgoing Board members. (The bigger they are, the softer they fall.)

Finally, relations between the Board and the CEO are expected to be congenial. At board meetings, criticism of the CEO's performance is often viewed as the social equivalent of belching. No such inhibitions restrain the office manager from critically evaluating the substandard typist.

These points should not be interpreted as a blanket condemnation of CEOs or Boards of Directors: Most are able and hard-working, and a number are truly outstanding. But the management failings that Charlie and I have seen make us thankful that we are linked with the managers of our three permanent holdings. They love their businesses, they think like owners, and they exude integrity and ability.

At our annual meetings, someone usually asks "What happens to this place if you get hit by a truck?" I'm glad they are still asking the question in this form. It won't be too long before the query becomes: "What happens to this place if you *don't* get hit by a truck?"

Such questions, in any event, raise a reason for me to discuss corporate governance, a hot topic during the past year. In general, I believe that directors have stiffened their spines recently and that shareholders are now being treated somewhat more like true owners than was the case not long ago. Commentators on corporate governance, however, seldom make any distinction among three fundamentally different manager/owner situations that exist in publicly-held companies. Though the legal responsibility of directors is identical throughout, their ability to effect change differs in each of the cases. Attention usually falls on the first case, because it prevails on the corporate scene. Since Berkshire falls into the second category, however, and will someday fall into the third, we will discuss all three variations.

The first, and by far most common, board situation is one in which a corporation has no controlling shareholder. **In** that case, I believe directors should behave as if there is a single absentee owner, whose long-term interest they should try to further in all proper ways. Unfortunately, "long-term" gives directors a lot of wiggle room. **If** they lack either integrity or the ability to think independently, directors can do great violence to shareholders while still claiming to be acting in their long-term interest. But assume the board is functioning well and must deal with a manage-

ment that is mediocre or worse. Directors then have the responsibility for changing that management, just as an intelligent owner would do if he were present. And if able but greedy managers over-reach and try to dip too deeply into the shareholders' pockets, directors must slap their hands.

In this plain-vanilla case, a director who sees something he doesn't like should attempt to persuade the other directors of his view. If he is successful, the board will have the muscle to make the appropriate change. Suppose, though, that the unhappy director can't get other directors to agree with him. He should then feel free to make his views known to the absentee owners. Directors seldom do that, of course. The temperament of many directors would in fact be incompatible with critical behavior of that sort. But I see nothing improper in such actions, assuming the issues are serious. Naturally, the complaining director can expect a vigorous rebuttal from the unpersuaded directors, a prospect that should discourage the dissenter from pursuing trivial or non-rational causes.

For the boards just discussed, I believe the directors ought to be relatively few in number-say, ten or less-and ought to come mostly from the outside. The outside board members should establish standards for the CEO's performance and should also periodically meet, without his being present, to evaluate his performance against those standards.

The requisites for board membership should be business savvy, interest in the job, and owner-orientation. Too often, directors are selected simply because they are prominent or add diversity to the board. That practice is a mistake. Furthermore, mistakes in selecting directors are particularly serious because appointments are so hard to undo: The pleasant but vacuous director need never worry about job security.

The second case is that existing at Berkshire, where the controlling owner is also the manager. At some companies, this arrangement is facilitated by the existence of two classes of stock endowed with disproportionate voting power. In these situations, it's obvious that the board does not act as an agent between owners and management and that the directors cannot effect change except through persuasion. Therefore, if the owner/manager is mediocre or worse-or is over-reaching-there is little a director can do about it except object. If the directors having no connections to the owner/manager make a unified argument, it may well have some effect. More likely it will not.

If change does not come, and the matter is sufficiently serious, the outside directors should resign. Their resignation will signal their doubts about management, and it will emphasize that no outsider is in a position to correct the owner/manager's shortcomings.

The third governance case occurs when there is a controlling owner who is not involved in management. This case, examples of which are Hershey Foods and Dow Jones, puts the outside directors in a potentially useful position. If they become unhappy with either the competence or integrity of the manager, they can go directly to the owner (who may also be on the board) and report their dissatisfaction. This situation is ideal for an outside director, since he need make his case only to a single, presumably interested owner, who can forthwith effect change if the argument is persuasive. Even so, the dissatisfied director has only that single course of action. If he remains unsatisfied about a critical matter, he has no choice but to resign.

Logically, the third case should be the most effective in insuring first-class management. In the second case the owner is not going to fire himself, and in the first case, directors often find it very difficult to deal with mediocrity or mild over-reaching. Unless the unhappy directors can win over a majority of the board-an awkward social and logistical task, particularly if management's behavior is merely odious, not egregious-their hands are effectively tied. In practice, directors trapped in situations of this kind usually convince themselves that by staying around they can do at least some good. Meanwhile, management proceeds unfettered.

In the third case, the owner is neither judging himself nor burdened with the problem of garnering a majority. He can also insure that outside directors are selected who will bring useful qualities to the board. These directors, in turn, will know that the good advice they give will reach the right ears, rather than being stifled by a recalcitrant management. If the controlling owner is intelligent and self-confident, he will make decisions in respect to management that are meritocratic and pro-shareholder. Moreover-and this is critically important-he can readily correct any mistake he makes.

At Berkshire we operate in the second mode now and will for as long as I remain functional. My health, let me add, is excellent. For better or worse, you are likely to have me as an owner/manager for some time.

After my death, all of my stock will go to my wife, Susie, should she survive me, or to a foundation if she dies before I do. In

neither case will taxes and bequests require the sale of consequential amounts of stock.

When my stock is transferred to either my wife or the foundation, Berkshire will enter the third governance mode, going forward with a vitally interested, but non-management, owner and with a management that must perform for that owner. In preparation for that time, Susie was elected to the board a few years ago, and in 1993 our son, Howard, joined the board. These family members will not be managers of the company in the future, but they will represent the controlling interest should anything happen to me. Most of our other directors are also significant owners of Berkshire stock, and each has a strong owner-orientation. All in all, we're prepared for "the truck."

Charlie Munger, our Vice Chairman, and I really have only two jobs. One is to attract and keep outstanding managers to run our various operations.[8] This hasn't been all that difficult. Usually the managers came with the companies we bought, having demonstrated their talents throughout careers that spanned a wide variety of business circumstances. They were managerial stars long before they knew us, and our main contribution has been to not get in their way. This approach seems elementary: if my job were to manage a golf team-and if Jack Nicklaus or Arnold Palmer were willing to play for me-neither would get a lot of directives from me about how to swing.

Some of our key managers are independently wealthy (we hope they all become so), but that poses no threat to their continued interest: they work because they love what they do and relish the thrill of outstanding performance. They unfailingly think like owners (the highest compliment we can pay a manager) and find all aspects of their business absorbing.

(Our prototype for occupational fervor is the Catholic tailor who used his small savings of many years to finance a pilgrimage to the Vatican. When he returned, his parish held a special meeting to get his first-hand account of the Pope. "Tell us," said the eager faithful, "just what sort of fellow is he?" Our hero wasted no words: "He's a forty-four medium.")

Charlie and I know that the right players will make almost any team manager look good. We subscribe to the philosophy of Ogilvy & Mather's founding genius, David Ogilvy: "If each of us

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8 [The other is capital allocation, discussed in Parts II and V.]

hires people who are smaller than we are, we shall become a company of dwarfs. But, if each of us hires people who are bigger than we are, we shall become a company of giants."

A by-product of our managerial style is the ability it gives us to easily expand Berkshire's activities. We've read management treatises that specify exactly how many people should report to any one executive, but they make little sense to us. When you have able managers of high character running businesses about which they are passionate, you can have a dozen or more reporting to you and still have time for an afternoon nap. Conversely, if you have even one person reporting to you who is deceitful, inept or uninterested, you will find yourself with more than you can handle. Charlie and I could work with double the number of managers we now have, so long as they had the rare qualities of the present ones.

We intend to continue our practice of working only with people whom we like and admire. This policy not only maximizes our chances for good results, it also ensures us an extraordinarily good time. On the other hand, working with people who cause your stomach to churn seems much like marrying for money-probably a bad idea under any circumstances, but absolute madness if you are already rich.

C. *The Anxieties of Plant Closings*[9]

In July we decided to close our textile operation, and by yearend this unpleasant job was largely completed. The history of this business is instructive.

When Buffett Partnership, Ltd., an investment partnership of which I was general partner, bought control of Berkshire Hathaway 21 years ago, it had an accounting net worth of $22 million, all devoted to the textile business. The company's intrinsic business value, however, was considerably less because the textile assets were unable to earn returns commensurate with their accounting value. Indeed, during the previous nine years (the period in which Berkshire and Hathaway operated as a merged company) aggregate sales of $530 million had produced an aggregate loss of $10 million. Profits had been reported from time to time but the net effect was always one step forward, two steps back.

At the time we made our purchase, southern textile plants-largely non-union-were believed to have an important competi-

9 [1985.]

tive advantage. Most northern textile operations had closed and many people thought we would liquidate our business as well.

We felt, however, that the business would be run much better by a long-time employee whom we immediately selected to be president, Ken Chace. In this respect we were 100% correct: Ken and his recent successor, Garry Morrison, have been excellent managers, every bit the equal of managers at our more profitable businesses.

In early 1967 cash generated by the textile operation was used to fund our entry into insurance via the purchase of National Indemnity Company. Some of the money came from earnings and some from reduced investment in textile inventories, receivables, and fixed assets. This pullback proved wise: although much improved by Ken's management, the textile business never became a good earner, not even in cyclical upturns.

Further diversification for Berkshire followed, and gradually the textile operation's depressing effect on our overall return diminished as the business became a progressively smaller portion of the corporation. We remained in the business for reasons that I stated in the 1978 annual report (and summarized at other times also): "(1) our textile businesses are very important employers in their communities, (2) management has been straightforward in reporting on problems and energetic in attacking them, (3) labor has been cooperative and understanding in facing our common problems, and (4) the business should average modest cash returns relative to investment." I further said, "As long as these conditions prevail-and we expect that they will-we intend to continue to support our textile business despite more attractive alternative uses for capital."

It turned out that I was very wrong about (4). Though 1979 was moderately profitable, the business thereafter consumed major amounts of cash. By mid-1985 it became clear, even to me, that this condition was almost sure to continue. Could we have found a buyer who would continue operations, I would have certainly preferred to sell the business rather than liquidate it, even if that meant somewhat lower proceeds for us. But the economics that were finally obvious to me were also obvious to others, and interest was nil.

I won't close down businesses of sub-normal profitability merely to add a fraction of a point to our corporate rate of return. However, I also feel it inappropriate for even an exceptionally profitable company to fund an operation once it appears to have

unending losses in prospect. Adam Smith would disagree with my first proposition, and Karl Marx would disagree with my second; the middle ground is the only position that leaves me comfortable.

I should reemphasize that Ken and Garry have been resourceful, energetic and imaginative in attempting to make our textile operation a success. Trying to achieve sustainable profitability, they reworked product lines, machinery configurations and distribution arrangements. We also made a major acquisition, Waumbec Mills, with the expectation of important synergy (a term widely used in business to explain an acquisition that otherwise makes no sense). But in the end nothing worked and I should be faulted for not quitting sooner. A recent *Business Week* article stated that 250 textile mills have closed since 1980. Their owners were not privy to any information that was unknown to me; they simply processed it more objectively. I ignored Comte's advice-"the intellect should be the servant of the heart, but not its slave"-and believed what I preferred to believe.

The domestic textile industry operates in a commodity business, competing in a world market in which substantial excess capacity exists. Much of the trouble we experienced was attributable, both directly and indirectly, to competition from foreign countries whose workers are paid a small fraction of the U.S. minimum wage. But that in no way means that our labor force deserves any blame for our closing. In fact, in comparison with employees of American industry generally, our workers were poorly paid, as has been the case throughout the textile business. In contract negotiations, union leaders and members were sensitive to our disadvantageous cost position and did not push for unrealistic wage increases or unproductive work practices. To the contrary, they tried just as hard as we did to keep us competitive. Even during our liquidation period they performed superbly. (Ironically, we would have been better off financially if our union had behaved unreasonably some years ago; we then would have recognized the impossible future that we faced, promptly closed down, and avoided significant future losses.)

Over the years, we had the option of making large capital expenditures in the textile operation that would have allowed us to somewhat reduce variable costs. Each proposal to do so looked like an immediate winner. Measured by standard return-on-investment tests, in fact, these proposals usually promised greater economic benefits than would have resulted from comparable

expenditures in our highly-profitable candy and newspaper businesses.

But the promised benefits from these textile investments were illusory. Many of our competitors, both domestic and foreign, were stepping up to the same kind of expenditures and, once enough companies did so, their reduced costs became the baseline for reduced prices industrywide. Viewed individually, each company's capital investment decision appeared cost-effective and rational; viewed collectively, the decisions neutralized each other and were irrational Gust as happens when each person watching a parade decides he can see a little better if he stands on tiptoes). After each round of investment, all the players had more money in the game and returns remained anemic.

Thus, we faced a miserable choice: huge capital investment would have helped to keep our textile business alive, but would have left us with terrible returns on ever-growing amounts of capital. After the investment, moreover, the foreign competition would still have retained a major, continuing advantage in labor costs. A refusal to invest, however, would make us increasingly non-competitive, even measured against domestic textile manufacturers. I always thought myself in the position described by Woody Allen in one of his movies: "More than any other time in history, mankind faces a crossroads. One path leads to despair and utter hopelessness, the other to total extinction. Let us pray we have the wisdom to choose correctly."

For an understanding of how the to-invest-or-not-to-invest dilemma plays out in a commodity business, it is instructive to look at Burlington Industries, by far the largest U.S. textile company both 21 years ago and now. In 1964 Burlington had sales of $1.2 billion against our $50 million. It had strengths in both distribution and production that we could never hope to match and also, of course, had an earnings record far superior to ours. Its stock sold at 60 at the end of 1964; ours was 13.

Burlington made a decision to stick to the textile business, and in 1985 had sales of about $2.8 billion. During the 1964-85 period, the company made capital expenditures of about $3 billion, far more than any other U.S. textile company and more than $200-per-share on that $60 stock. A very large part of the expenditures, I am sure, was devoted to cost improvement and expansion. Given Burlington's basic commitment to stay in textiles, I would also surmise that the company's capital decisions were quite rational.

Nevertheless, Burlington has lost sales volume in real dollars and has far lower returns on sales and equity now than 20 years ago. Split 2-for-1 in 1965, the stock now sells at 34-on an adjusted basis, just a little over its $60 price in 1964. Meanwhile, the CPI has more than tripled. Therefore, each share commands about one-third the purchasing power it did at the end of 1964. Regular dividends have been paid but they, too, have shrunk significantly in purchasing power.

This devastating outcome for the shareholders indicates what can happen when much brain power and energy are applied to a faulty premise. The situation is suggestive of Samuel Johnson's horse: "A horse that can count to ten is a remarkable horse-not a remarkable mathematician." Likewise, a textile company that allocates capital brilliantly within its industry is a remarkable textile company-but not a remarkable business.

My conclusion from my own experiences and from much observation of other businesses is that a good managerial record (measured by economic returns) is far more a function of what business boat you get into than it is of how effectively you row (though intelligence and effort help considerably, of course, in any business, good or bad). Some years ago I wrote: "When a management with a reputation for brilliance tackles a business with a reputation for poor fundamental economics, it is the reputation of the business that remains intact." Nothing has since changed my point of view on that matter. Should you find yourself in a chronically-leaking boat, energy devoted to changing vessels is likely to be more productive than energy devoted to patching leaks.

D. *An Owner-Based Approach to Corporate Charity*[10]

A recent survey reported that about 50% of major American companies match charitable contributions made by directors (sometimes by a factor of three to one). In effect, these representatives of the owners direct funds to their favorite charities, and never consult the owners as to their charitable preferences. (I wonder how they would feel if the process were reversed and shareholders could invade the directors' pockets for charities favored by the shareholders.) When A takes money from B to give to C and A is a legislator, the process is called taxation. But when A is an officer or director of a corporation, it is called philanthropy. We continue to believe that contributions, aside from those with quite

10 [Divided by hash lines: 1987; 1981 (reprinted 1988); 1981; 1990-93; 1993.]

clear direct benefits to the company, should reflect the charitable preferences of owners rather than those of officers and directors.

On September 30, 1981 Berkshire received a tax ruling from the U.S. Treasury Department that, in most years, should produce a significant benefit for charities of your choice.

Each Berkshire shareholder-on a basis proportional to the number of shares of Berkshire that he owns-will be able to designate recipients of charitable contributions by our company. You'll name the charity; Berkshire will write the check. The ruling states that there will be no personal tax consequences to our shareholders from making such designations.

Thus, our . . . owners now can exercise a perquisite that, although routinely exercised by the owners in closely-held businesses, is almost exclusively exercised by the managers in more widely-held businesses.

In a widely-held corporation the executives ordinarily arrange all charitable donations, with no input at all from shareholders, in two main categories:

(1) Donations considered to benefit the corporation directly in an amount roughly commensurate with the cost of the donation; and

(2) Donations considered to benefit the corporation indirectly through hard-to-measure, long-delayed feedback effects of various kinds.

I and other Berkshire executives have arranged in the past, as we will arrange in the future, all charitable donations in the first category. However, the aggregate level of giving in such category has been quite low, and very likely will remain quite low, because not many gifts can be shown to produce roughly commensurate direct benefits to Berkshire.

In the second category, Berkshire's charitable gifts have been virtually nil, because I am not comfortable with ordinary corporate practice and had no better practice to substitute. What bothers me about ordinary corporate practice is the way gifts tend to be made based more on who does the asking and how corporate peers are responding than on an objective evaluation of the donee's activities. Conventionality often overpowers rationality.

A common result is the use of the stockholder's money to implement the charitable inclinations of the corporate manager, who usually is heavily influenced by specific social pressures on him. Frequently there is an added incongruity; many corporate manag-

ers deplore governmental allocation of the taxpayer's dollar but embrace enthusiastically their own allocation of the shareholder's dollar.

For Berkshire, a different model seems appropriate. Just as I wouldn't want you to implement your personal judgments by writing checks on my bank account for charities of your choice, I feel it inappropriate to write checks on your corporate "bank account" for charities of my choice. Your charitable preferences are as good as mine and, for both you and me, funds available to foster charitable interests in a tax-deductible manner reside largely at the corporate level rather than in our own hands.

Under such circumstances, I believe Berkshire should imitate more closely-held companies, not larger public companies. If you and I each own 50% of a corporation, our charitable decision making would be simple. Charities very directly related to the operations of the business would have first claim on our available charitable funds. Any balance available after the "operations-related" contributions would be divided among various charitable interests of the two of us, on a basis roughly proportional to our ownership interest. If the manager of our company had some suggestions, we would listen carefully-but the final decision would be ours. Despite our corporate form, in this aspect of the business we probably would behave as if we were a partnership.

Wherever feasible, I believe in maintaining such a partnership frame of mind, even though we operate through a large, fairly widely-held corporation. Our Treasury ruling will allow such partnership-like behavior in this area [...]

I am pleased that Berkshire donations can become owner-directed. It is ironic, but understandable, that a large and growing number of major corporations have charitable policies pursuant to which they will match gifts made by their employees (and-brace yourself for this one-many even match gifts made by directors) but none, to my knowledge, has a plan matching charitable gifts by owners. I say "understandable" because much of the stock of many large corporations is owned on a "revolving door" basis by institutions that have short-term investment horizons, and that lack a long-term owner's perspective [...]

Our own shareholders are a different breed .... [A]t the end of each year, more than 98% of our shares are owned by people who were shareholders at the beginning of the year. This long-term commitment to the business reflects an owner mentality which, as your manager, I intend to acknowledge in all feasible

ways. The designated contributions policy is an example of that intent.

Our new program enabling shareholders to designate the recipients of corporate charitable contributions was greeted with extraordinary enthusiasm. . .. Of 932,206 shares eligible for participation (shares where the name of the actual owner appeared on our stockholder record), 95.6% responded. Even excluding Buffett-related shares, the response topped 90%.

In addition, more than 3% of our shareholders voluntarily wrote letters or notes, all but one approving of the program. Both the level of participation and of commentary surpass any shareholder response we have witnessed, even when such response has been intensively solicited by corporate staff and highly-paid professional proxy organizations. In contrast, your extraordinary level of response occurred without even the nudge of a company-provided return envelope. This self-propelled behavior speaks well for the program, and speaks well for our shareholders.

Apparently the owners of our corporation like both possessing and exercising the ability to determine where gifts of their funds shall be made. The "father-knows-best" school of corporate governance will be surprised to find that none of our shareholders sent in a designation sheet with instructions that the officers of Berkshire-in their superior wisdom, of course-make the decision on charitable funds applicable to his shares. Nor did anyone suggest that his share of our charitable funds be used to match contributions made by our corporate directors to charities of the directors' choice (a popular, proliferating and non-publicized policy at many large corporations).

All told, $1,783,655 of shareholder-designed contributions were distributed to about 675 charities. In addition, Berkshire and subsidiaries continue to make certain contributions pursuant to local level decisions made by our operating managers.

There will be some years, perhaps two or three out of ten, when contributions by Berkshire will produce substandard tax deductions-or none at all. In those years we will not effect our shareholder-designated charitable program. In all other years we expect to inform you about October 10th of the amount per share that you may designate. A reply form will accompany the notice, and you will be given about three weeks to respond with your designation. . . .

Our only disappointment with this program in 1981 was that some of our shareholders, through no fault of their own, missed the opportunity to participate. The Treasury Department ruling allowing us to proceed without tax uncertainty was received early in October. The ruling did not cover participation by shareholders whose stock was registered in the name of nominees, such as brokers, and additionally required that the owners of all designating shares make certain assurances to Berkshire. These assurances could not be given us in effective form by nominee holders.

Under these circumstances, we attempted to communicate with all of our owners promptly (via [an] October 14th letter) so that, if they wished, they could prepare themselves to participate by the November 13th record date. It was particularly important that this information be communicated promptly to stockholders whose holdings were in nominee name, since they would not be eligible unless they took action to re-register their shares before the record date.

Unfortunately, communication to such non-record shareholders could take place only through the nominees. We therefore strongly urged those nominees, mostly brokerage houses, to promptly transmit our letter to the real owners. We explained that their failure to do so could deprive such owners of an important benefit.

The results from our urging would not strengthen the case for private ownership of the U.S. Postal Service. Many of our shareholders never heard from their brokers (as some shareholders told us after reading news accounts of the program). Others were forwarded our letter too late for action.

One of the largest brokerage houses claiming to hold stock for sixty of its clients (about 4% of our shareholder population), apparently transmitted our letter about three weeks after receipt-too late for any of the sixty of participate. (Such lassitude did not pervade all departments of that firm; it billed Berkshire for mailing services within six days of that belated and ineffectual action.)

We recite such horror stories for two reasons: (1) if you wish to participate in future designated-contribution programs, be sure to have your stock registered in your name well before September 30th; and (2) even if you don't care to participate and prefer to leave your stock in nominee form, it would be wise to have at least one share registered in your own name. By so doing, you can be sure that you will be notified of any important corporate news at the same time as all other shareholders.

The designated-contributions idea, along with many other ideas that have turned out well for us, was conceived by Charlie Munger, Vice Chairman of Berkshire and Chairman of Blue Chip. Irrespective of titles, Charlie and I work as partners in managing all controlled companies. To almost a sinful degree, we enjoy our work as managing partners. And we enjoy having you as our financial partners.

In addition to the shareholder-designated contributions that Berkshire distributes, managers of our operating businesses make contributions, including merchandise, averaging [between $1.5 million and $2.5 million] annually. These contributions support local charities, such as The United Way, and produce roughly commensurate benefits for our businesses.

However, neither our operating managers nor officers of the parent company use Berkshire funds to make contributions to broad national programs or charitable activities of special personal interest to them, except to the extent they do so as shareholders. If your employees, including your CEO, wish to give to their alma maters or other institutions to which they feel a personal attachment, we believe they should use their own money, not yours.

Berkshire's practice in respect to discretionary philanthropy-as contrasted to its policies regarding contributions that are clearly related to the company's business activities-differs significantly from that of other publicly-held corporations. There, most corporate contributions are made pursuant to the wishes of the CEO (who often will be responding to social pressures), employees (through matching gifts), or directors (through matching gifts or requests they make of the CEO).

At Berkshire, we believe that the company's money is the owners' money, just as it would be in a closely-held corporation, partnership, or sole proprietorship. Therefore, if funds are to be given to causes unrelated to Berkshire's business activities, it is the charities favored by our owners that should receive them. We've yet to find a CEO who believes he should personally fund the charities favored by his shareholders. Why, then, should they foot the bill for his picks?

Let me add that our program is easy to administer. Last fall, for two months, we borrowed one person from National Indemnity to help us implement the instructions that came from our 7,500 registered shareholders. I'd guess that the average corporate program

in which employee gifts are matched incurs far greater administrative costs. Indeed, our entire corporate overhead is less than half the size of our charitable contributions. (Charlie, however, insists that I tell you that $1.4 million of our $4.9 million overhead is attributable to our corporate jet, The Indefensible.)11

Below is a list showing the largest categories to which our shareholders have steered their contributions.

(a) 347 churches and synagogues received 569 gifts

(b) 238 colleges and universities received 670 gifts

(c) 244 K-12 schools (about two-thirds secular, one-third religious) received 525 gifts

(d) 288 institutions dedicated to art, culture or the humanities received 447 gifts

(e) 180 religious social-service organizations (split about equally between Christian and Jewish) received 411 gifts

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11 [Typesetting in original] [The 1986 letter contained the following:}

We bought a corporate jet last year. [Typesetting in original] What you have heard about such planes is true: they are very expensive and a luxury in situations like ours where little travel to out-of-the-way places is required. And planes not only cost a lot to operate, they cost a lot just to look at. Pre-tax, cost of capital plus depreciation on a new $15 million plane probably runs $3 million annually. On our own plane, bought for $850,000 used, such costs run close to $200,000 annually.

Cognizant of such figures, your Chairman, unfortunately, has in the past made a number of rather intemperate remarks about corporate jets. Accordingly, prior to our purchase, I was forced into my Galileo mode. I promptly experienced the necessary "counter-revelation" and travel is now considerably easier-and considerably costlier-than in the past. Whether Berkshire will get its money's worth from the plane is an open question, but I will work at achieving some business triumph that I can (no matter how dubiously) attribute to it. I'm afraid Ben Franklin had my number. Said he: "So convenient a thing it is to be a reasonable creature, since it enables one to find or make a reason for everything one has a mind to do."

[The 1989 letter contained the following:]

Last summer we sold the corporate jet that we purchased for $850,000 three years ago and bought another used jet for $6.7 million. [Noting an amusing anecdote of Carl Sagan about obstacles that impede exponential growth of bacteria-referred to in the Epilogue below, some readers] wiJI understandably panic: If our net worth continues to increase at current rates, and the cost of replacing planes also continues to rise at the now-established rate of 100% compounded annually, it will not be long before Berkshire's entire net worth is consumed by its jet.

Charlie doesn't like it when I equate the jet with bacteria; he feels it's degrading to the bacteria. His idea of traveling in style is an air-conditioned bus, a luxury he steps up to only when bargain fairs are in effect. My own attitude toward the jet can be summarized by the prayer attributed, apocryphally I'm sure, to St. Augustine as he contemplated leaving a life of secular pleasures to become a priest. Battling the conflict between intellect and glands, he pled: "Help me, Oh Lord, to become chaste-but not yet."

Naming the plane has not been easy. I initially suggested "The Charles T. Munger." Charlie countered with "The Aberration." We finally settled on "The Indefensible."

(f) 445 secular social-service organizations (about 40% youth-related) received 759 gifts
(g) 153 hospitals received 261 gifts
(h) 186 health-related organizations (American Heart Association, American Cancer Society, etc.) received 320 gifts

Three things about this list seem particularly interesting to me. First, to some degree it indicates what people choose to give money to when they are acting of their own accord, free of pressure from solicitors or emotional appeals from charities. Second, the contributions programs of publicly-held companies almost never allow gifts to churches and synagogues, yet clearly these institutions are what many shareholders would like to support. Third, the gifts made by our shareholders display conflicting philosophies: 130 gifts were directed to organizations that believe in making abortions readily available for women and 30 gifts were directed to organizations (other than churches) that discourage or are opposed to abortion.

Last year I told you that I was thinking of raising the amount that Berkshire shareholders can give under our designated-contributions program and asked for your comments. We received a few well-written letters opposing the entire idea, on the grounds that it was our job to run the business and not our job to force shareholders into making charitable gifts. Most of the shareholders responding, however, noted the tax efficiency of the plan and urged us to increase the designated amount. Several shareholders who have given stock to their children or grandchildren told me that they consider the program a particularly good way to get youngsters thinking at an early age about the subject of giving. These people, in other words, perceive the program to be an educational, as well as philanthropic, tool. The bottom line is that we did raise the amount in 1993, from $8 per share to $10.[12]

E. *A Principled Approach to Executive Pay*[13]

When returns on capital are ordinary, an earn-more-by-putting-up-more record is no great managerial achievement. You can

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12 [Each annual letter states the approximate percentage of eligible shares that participated in the shareholder-designated contributions program, the dollar amount of the contributions, and the number of recipients. Since 1988, the percentage of shares has always exceeded 95% and has averaged about 97%; the dollar amount has risen steadily from $5 million in 1988 to $13.3 million in 1996, averaging about $8.4 million annually during that period; and the number of charities has also risen steadily from 2,319 in 1988 to 3,910 in 1996, averaging about 3,000 annually during that period.]

13 [Divided by hash lines: 1985; 1994; 1991.]

get the same result personally while operating from your rocking chair. Just quadruple the capital you commit to a savings account and you will quadruple your earnings. You would hardly expect hosannas for that particular accomplishment. Yet, retirement announcements regularly sing the praises of CEOs who have, say, quadrupled earnings of their widget company during their reign-with no one examining whether this gain was attributable simply to many years of retained earnings and the workings of compound interest.

If the widget company consistently earned a superior return on capital throughout the period, or if capital employed only doubled during the CEO's reign, the praise for him may be well deserved. But if return on capital was lackluster and capital employed increased in pace with earnings, applause should be withheld. A savings account in which interest was reinvested would achieve the same year-by-year increase in earnings-and, at only 8% interest, would quadruple its annual earnings in 18 years.

The power of this simple math is often ignored by companies to the detriment of their shareholders. Many corporate compensation plans reward managers handsomely for earnings increases produced solely, or in large part, by retained earnings-i.e., earnings withheld from owners. For example, ten-year, fixed-price stock options are granted routinely, often by companies whose dividends are only a small percentage of earnings.

An example will illustrate the inequities possible under such circumstances. Let's suppose that you had a $100,000 savings account earning 8% interest and "managed" by a trustee who could decide each year what portion of the interest you were to be paid in cash. Interest not paid out would be "retained earnings" added to the savings account to compound. And let's suppose that your trustee, in his superior wisdom, set the "pay-out ratio" at one-quarter of the annual earnings.

Under these assumptions, your account would be worth $179,084 at the end of ten years. Additionally, your annual earnings would have increased about 70% from $8,000 to $13,515 under this inspired management. And, finally, your "dividends" would have increased commensurately, rising regularly from $2,000 in the first year to $3,378 in the tenth year. Each year, when your manager's public relations firm prepared his annual report to you, all of the charts would have had lines marching skyward.

Now, just for fun, let's push our scenario one notch further and give your trustee-manager a ten-year fixed-price option on

part of your "business" (i.e., your savings account) based on its fair value in the first year. With such an option, your manager would reap a substantial profit at your expense-just from having held on to most of your earnings. If he were both Machiavellian and a bit of a mathematician, your manager might also have cut the pay-out ratio once he was firmly entrenched.

This scenario is not as farfetched as you might think. Many stock options in the corporate world have worked in exactly that fashion: they have gained in value simply because management retained earnings, not because it did well with the capital in its hands.

Managers actually apply a double standard to options. Leaving aside warrants (which deliver the issuing corporation immediate and substantial compensation), I believe it is fair to say that nowhere in the business world are ten-year, fixed-price options on all or a portion of a business granted to outsiders. Ten months, in fact, would be regarded as extreme. It would be particularly unthinkable for managers to grant a long-term option on a business that was regularly adding to its capital. Any outsider wanting to secure such an option would be required to pay fully for capital added during the option period.

The unwillingness of managers to do-unto-outsiders, however, is not matched by an unwillingness to do-unto-themselves. (Negotiating with one's self seldom produces a barroom brawl.) Managers regularly engineer ten-year, fixed-price options for themselves and associates that, first, totally ignore the fact that retained earnings automatically build value and, second, ignore the carrying cost of capital. As a result, these managers end up profiting much as they would have had they had an option on that savings account that was automatically building up in value.

Of course, stock options often go to talented, value-adding managers and sometimes deliver them rewards that are perfectly appropriate. (Indeed, managers who are really exceptional almost always get far less than they should.) But when the result is equitable, it is accidental. Once granted, the option is blind to individual performance. Because it is irrevocable and unconditional (so long as a manager stays in the company), the sluggard receives rewards from his options precisely as does the star. A managerial Rip Van Winkle, ready to doze for ten years, could not wish for a better "incentive" system.

(I can't resist commenting on one long-term option given an "outsider": that granted the U.S. Government on Chrysler shares as partial consideration for the government's guarantee of some

life-saving loans. When these options worked out well for the government, Chrysler sought to modify the payoff, arguing that the rewards to the government were both far greater than intended and outsize in relation to its contribution to Chrysler's recovery. The company's anguish over what it saw as an imbalance between payoff and performance made national news. That anguish may well be unique: to my knowledge, no managers-anywhere-have been similarly offended by unwarranted payoffs arising from options granted to themselves or their colleagues.)

Ironically, the rhetoric about options frequently describes them as desirable because they put managers and owners in the same financial boat. In reality, the boats are far different. No owner has ever escaped the burden of capital costs, whereas a holder of a fixed-price option bears no capital costs at all. An owner must weigh upside potential against downside risk; an option holder has no downside. In fact, the business project in which you would wish to have an option frequently is a project in which you would reject ownership. (I'll be happy to accept a lottery ticket as a gift-but I'll never buy one.)

In dividend policy also, the option holders' interests are best served by a policy that may ill serve the owner. Think back to the savings account example. The trustee, holding his option, would benefit from a no-dividend policy. Conversely, the owner of the account should lean to a total payout so that he can prevent the option-holding manager from sharing in the account's retained earnings.[14]

Despite their shortcomings, options can be appropriate under some circumstances. My criticism relates to their indiscriminate use and, in that connection, I would like to emphasize three points:

First, stock options are inevitably tied to the overall performance of a corporation. Logically, therefore, they should be awarded only to those managers with overall responsibility. Managers with limited areas of responsibility should have incentives that payoff in relation to results under their control. The .350 hitter expects, and also deserves, a big payoff for his performance-even if he plays for a cellar-dwelling team. And the .150 hitter should get no reward-even if he plays for a pennant winner. Only those with overall responsibility for the team should have their rewards tied to its results.

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14 [*See* the essay Dividend Policy in Part III.C.]

Second, options should be structured carefully. Absent special factors, they should have built into them a retained-earnings or carrying-cost factor. Equally important, they should be priced realistically. When managers are faced with offers for their companies, they unfailingly point out how unrealistic market prices can be as an index of real value. But why, then, should these same depressed prices be the valuations at which managers sell portions of their businesses to themselves? (They may go further: officers and directors sometimes consult the Tax Code to determine the *lowest* prices at which they can, in effect, sell part of the business to insiders. While they're at it, they often elect plans that produce the *worst* tax result for the company.) Except in highly unusual cases, owners are not well served by the sale of part of their business at a bargain price-whether the sale is to outsiders or to insiders. The obvious conclusion: options should be priced at true business value.

Third, I want to emphasize that some managers whom I admire enormously-and whose operating records are far better than mine-disagree with me regarding fixed-price options. They have built corporate cultures that work, and fixed-price options have been a tool that helped them. By their leadership and example, and by the use of options as incentives, these managers have taught their colleagues to think like owners. Such a culture is rare and when it exists should perhaps be left intact-despite inefficiencies and inequities that may infest the option program. "If it ain't broke, don't fix it" is preferable to "purity at any price".

At Berkshire, however, we use an incentive-compensation system that rewards key managers for meeting targets in their own bailiwicks. If See's does well, that does not produce incentive compensation at the News-nor vice versa. Neither do we look at the price of Berkshire stock when we write bonus checks. We believe good unit performance should be rewarded whether Berkshire stock rises, falls, or stays even. Similarly, we think average performance should earn no special rewards even if our stock should soar. "Performance", furthermore, is defined in different ways depending upon the underlying economics of the business: in some our managers enjoy tailwinds not of their own making, in others they fight unavoidable headwinds.

The rewards that go with this system can be large. At our various business units, top managers sometimes receive incentive bonuses of five times their base salary, or more, and it would appear possible that one manager's bonus could top $2 million in 1986. (I hope so.) We do not put a cap on bonuses, and the potential for

rewards is not hierarchical. The manager of a relatively small unit can earn far more than the manager of a larger unit if results indicate he should. We believe, further, that such factors as seniority and age should not affect incentive compensation (though they sometimes influence basic compensation.) A 20 year-old who can hit .300 is as valuable to us as a 40 year-old performing as well.

Obviously, all Berkshire managers can use their bonus money (or other funds, including borrowed money) to buy our stock in the market. Many have done just that-and some now have large holdings. By accepting both the risks and the carrying cost that go with outright purchases, these managers truly walk in the shoes of owners.

At Berkshire, we try to be as logical about compensation as about capital allocation. For example, we compensate Ralph Schey based upon the results of Scott Fetzer rather than those of Berkshire. What could make more sense, since he's responsible for one operation but not the other? A cash bonus or a stock option tied to the fortunes of Berkshire would provide totally capricious rewards to Ralph. He could, for example, be hitting home runs at Scott Fetzer while Charlie and I rang up mistakes at Berkshire, thereby negating his efforts many times over. Conversely, why should option profits or bonuses be heaped upon Ralph if good things are occurring in other parts of Berkshire but Scott Fetzer is lagging?

In setting compensation, we like to hold out the promise of large carrots, but make sure their delivery is tied directly to results in the area that a manager controls. When capital invested in an operation is significant, we also both charge managers a high rate for incremental capital they employ and credit them at an equally high rate for capital they release.

The product of this money's-not-free approach is definitely visible at Scott Fetzer. If Ralph can employ incremental funds at good returns, it pays him to do so: His bonus increases when earnings on additional capital exceed a meaningful hurdle charge. But our bonus calculation is symmetrical: If incremental investment yields sub-standard returns, the shortfall is costly to Ralph as well as to Berkshire. The consequence of this two-way arrangement is that it pays Ralph-and pays him well-to send to Omaha any cash he can't advantageously use in his business.

It has become fashionable at public companies to describe almost every compensation plan as aligning the interests of manage-

ment with those of shareholders. In our book, alignment means being a partner in both directions, not just on the upside. Many "alignment" plans flunk this basic test, being artful forms of "heads I win, tails you lose."

A common form of misalignment occurs in the typical stock option arrangement, which does not periodically increase the option price to compensate for the fact that retained earnings are building up the wealth of the company. Indeed, the combination of a ten-year option, a low dividend payout, and compound interest can provide lush gains to a manager who has done no more than tread water in his job. A cynic might even note that when payments to owners are held down, the profit to the option-holding manager increases. I have yet to see this vital point spelled out in a proxy statement asking shareholders to approve an option plan.

I can't resist mentioning that our compensation arrangement with Ralph Schey was worked out in about five minutes, immediately upon our purchase of Scott Fetzer and without the "help" of lawyers or compensation consultants. This arrangement embodies a few very simple ideas-not the kind of terms favored by consultants who cannot easily send a large bill unless they have established that you have a large problem (and one, of course, that requires an annual review). Our agreement with Ralph has never been changed. It made sense to him and to me in 1986, and it makes sense now. Our compensation arrangements with the managers of all our other units are similarly simple, though the terms of each agreement vary to fit the economic characteristics of the business at issue, the existence in some cases of partial ownership of the unit by managers, etc.

In all instances, we pursue rationality. Arrangements that pay off in capricious ways, unrelated to a manager's personal accomplishments, may well be welcomed by certain managers. Who, after all, refuses a free lottery ticket? But such arrangements are wasteful to the company and cause the manager to lose focus on what should be his real areas of concern. Additionally, irrational behavior at the parent may well encourage imitative behavior at subsidiaries.

At Berkshire, only Charlie and I have the managerial responsibility for the entire business. Therefore, we are the only parties who should logically be compensated on the basis of what the enterprise does as a whole. Even so, that is not a compensation arrangement we desire. We have carefully designed both the company and our jobs so that we do things we enjoy with people

we like. Equally important, we are forced to do very few boring or unpleasant tasks. We are the beneficiaries as well of the abundant array of material and psychic perks that flow to the heads of corporations. Under such idyllic conditions, we don't expect shareholders to ante up loads of compensation for which we have no possible need.

Indeed, if we were not paid at all, Charlie and I would be delighted with the cushy jobs we hold. At bottom, we subscribe to Ronald Reagan's creed: "It's probably true that hard work never killed anyone, but I figure why take the chance."

We made a sizable acquisition in 1991-the H.H. Brown Shoe Co.[,] ... the leading North American manufacturer of work shoes and boots, and it has a history of earning unusually fine margins on sales and assets. Shoes are a tough business-of the billion pairs purchased in the United States each year, about 85% are imported-and most manufacturers in the industry do poorly. The wide range of styles and sizes that producers offer causes inventories to be heavy; substantial capital is also tied up in receivables....

A distinguishing characteristic of H.H. Brown is one of the most unusual compensation systems I've encountered-but one that warms my heart: A number of key managers are paid an annual salary of $7,800, to which is added a designated percentage of the profits of the company after these are reduced by a charge for capital employed. These managers therefore truly stand in the shoes of owners. In contrast, most managers talk the talk but don't walk the walk, choosing instead to employ compensation systems that are long on carrots but short on sticks (and that almost invariably treat equity capital as if it were cost-free). The arrangement at Brown, in any case, has served both the company and its managers exceptionally well, which should be no surprise: Managers eager to bet heavily on their abilities usually have plenty of ability to bet on.

II. CORPORATE FINANCE AND INVESTING

We bought all of our [Washington Post Company ("WPC")] holdings in mid~1973 at a price of not more than one-fourth of the then per-share business value of the enterprise. Calculating the price/value ratio required no unusual insights. Most security analysts, media brokers, and media executives would have estimated WPC's intrinsic business value at $400 to $500 million just as we did. And its $100 million stock market valuation was published daily for all to see. Our advantage, rather, was attitude: we had learned from Ben Graham that the key to successful investing was the purchase of shares in good businesses when market prices were at a large discount from underlying business values.

Most institutional investors in the early 1970s, on the other hand, regarded business value as of only minor relevance when they were deciding the prices at which they would buy or sell. This now seems hard to believe. However, these institutions were then under the spell of academics at prestigious business schools who were preaching a newly-fashioned theory: the stock market was totally efficient, and therefore calculations of business value-and even thought, itself-were of no importance in investment activities. (We are enormously indebted to those academics: what could be more advantageous in an intellectual contest-whether it be bridge, chess, or stock selection-than to have opponents who have been taught that thinking is a waste of energy?)15

A. *Mr. Market*[16]

Whenever Charlie and I buy common stocks for Berkshire's insurance companies (leaving aside arbitrage purchases, discussed [in the next essay]) we approach the transaction as if we were buying into a private business. We look at the economic prospects of the business, the people in charge of running it, and the price we must pay. We do not have in mind any time or price for sale. Indeed, we are willing to hold a stock indefinitely so long as we expect the business to increase in intrinsic value at a satisfactory rate. When investing, we view ourselves as business analysts-not as market analysts, not as macroeconomic analysts, and not even as security analysts.

Our approach makes an active trading market useful, since it periodically presents us with mouth-watering opportunities. But by

15 [First two introductory paragraphs, 1985.]
16 [1987.]

no means is it essential: a prolonged suspension of trading in the securities we hold would not bother us any more than does the lack of daily quotations on World Book or Fechheimer. Eventually, our economic fate will be determined by the economic fate of the business we own, whether our ownership is partial or total.

Ben Graham, my friend and teacher, long ago described the mental attitude toward market fluctuations that I believe to be most conducive to investment success. He said that you should imagine market quotations as coming from a remarkably accommodating fellow named Mr. Market who is your partner in a private business. Without fail, Mr. Market appears daily and names a price at which he will either buy your interest or sell you his.

Even though the business that the two of you own may have economic characteristics that are stable, Mr. Market's quotations will be anything but. For, sad to say, the poor fellow has incurable emotional problems. At times he feels euphoric and can see only the favorable factors affecting the business. When in that mood, he names a very high buy-sell price because he fears that you will snap up his interest and rob him of imminent gains. At other times he is depressed and can see nothing but trouble ahead for both the business and the world. On these occasions he will name a very low price, since he is terrified that you will unload your interest on him.

Mr. Market has another endearing characteristic: He doesn't mind being ignored. If his quotation is uninteresting to you today, he will be back with a new one tomorrow. Transactions are strictly at your option. Under these conditions, the more manic-depressive his behavior, the better for you.

But, like Cinderella at the ball, you must heed one warning or everything will turn into pumpkins and mice: Mr. Market is there to serve you, not to guide you. It is his pocketbook, not his wisdom, that you will find useful. If he shows up some day in a particularly foolish mood, you are free to either ignore him or to take advantage of him, but it will be disastrous if you fall under his influence. Indeed, if you aren't certain that you understand and can value your business far better than Mr. Market you don't belong in the game. As they say in poker, "If you've been in the game 30 minutes and you don't know who the patsy is, *you're* the patsy."

Ben's Mr. Market allegory may seem out-of-date in today's investment world, in which most professionals and academicians talk of efficient markets, dynamic hedging and betas. Their interest in such matters is understandable, since techniques shrouded in mystery clearly have value to the purveyor of investment advice.

After all, what witch doctor has ever achieved fame and fortune by simply advising "Take two aspirins"?

The value of market esoterica to the consumer of investment advice is a different story. In my opinion, investment success will not be produced by arcane formulae, computer programs or signals flashed by the price behavior of stocks and markets. Rather an investor will succeed by coupling good business judgment with an ability to insulate his thoughts and behavior from the super-contagious emotions that swirl about the marketplace. In my own efforts to stay insulated, I have found it highly useful to keep Ben's Mr. Market concept firmly in mind.

Following Ben's teachings, Charlie and I let our marketable equities tell us by their operating results-not by their daily, or even yearly, price quotations-whether our investments are successful. The market may ignore business success for a while, but eventually will confirm it. As Ben said: "In the short run, the market is a voting machine but in the long run it is a weighing machine." The speed at which a business's success is recognized, furthermore, is not that important as long as the company's intrinsic value is increasing at a satisfactory rate. In fact, delayed recognition can be an advantage: It may give us the chance to buy more of a good thing at a bargain price.

Sometimes, of course, the market may judge a business to be more valuable than the underlying facts would indicate it is. In such a case, we will sell our holdings. Sometimes, also, we will sell a security that is fairly valued or even undervalued because we require funds for a still more undervalued investment or one we believe we understand better.

We need to emphasize, however, that we do not sell holdings just because they have appreciated or because we have held them for a long time. (Of Wall Street maxims the most foolish may be "You can't go broke taking a profit.") We are quite content to hold any security indefinitely, so long as the prospective return on equity capital of the underlying business is satisfactory, management is competent and honest, and the market does not overvalue the business.

However, our insurance companies own three marketable common stocks that we would not sell even though they became far overpriced in the market. In effect, we view these investments exactly like our successful controlled businesses-a permanent part of Berkshire rather than merchandise to be disposed of once Mr. Market offers us a sufficiently high price. To that, I will add one

qualifier: These stocks are held by our insurance companies and we would, if absolutely necessary, sell portions of our holdings to pay extraordinary insurance losses. We intend, however, to manage our affairs so that sales are never required.

A determination to have and to hold, which Charlie and I share, obviously involves a mixture of personal and financial considerations. To some, our stand may seem highly eccentric. (Charlie and I have long followed David Ogilvy's advice: "Develop your eccentricities while you are young. That way, when you get old, people won't think you're going ga-ga.") Certainly, in the transaction-fixated Wall Street of recent years, our posture must seem odd: To many in that arena, both companies and stocks are seen only as raw material for trades.

Our attitude, however, fits our personalities and the way we want to live our lives. Churchill once said, "You shape your houses and then they shape you." We know the manner in which we wish to be shaped. For that reason, we would rather achieve a return of X while associating with people whom we strongly like and admire than realize 110% of X by exchanging these relationships for uninteresting or unpleasant ones.

B. *Arbitrage*[17]

[O]ur insurance subsidiaries sometimes engage in arbitrage as an alternative to holding short-term cash equivalents. We prefer, of course, to make major long-term commitments, but we often have more cash than good ideas. At such times, arbitrage sometimes promises much greater returns than Treasury Bills and, equally important, cools any temptation we may have to relax our standards for long-term investments. (Charlie's signoff after we've talked about an arbitrage commitment is usually: "Okay, at least it will keep you out of bars.")

During 1988 we made unusually large profits from arbitrage, measured both by absolute dollars and rate of return. Our pre-tax gain was about $78 million on average invested funds of about $147 million.

This level of activity makes some detailed discussion of arbitrage and our approach to it appropriate. Once, the word applied only to the simultaneous purchase and sale of securities or foreign exchange in two different markets. The goal was to exploit tiny price differentials that might exist between, say, Royal Dutch stock

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17 [Divided by hash lines: 1988; 1989.]

trading in guilders in Amsterdam, pounds in London, and dollars in New York. Some people might call this scalping: it won't surprise you that practitioners opted for the French term, arbitrage.

Since World War I the definition of arbitrage-or "risk arbitrage," as it is now sometimes called-has expanded to include the pursuit of profits from an announced corporate event such as sale of the company, merger, recapitalization, reorganization, liquidation, self-tender, etc. In most cases the arbitrageur expects to profit regardless of the behavior of the stock market. The major risk he usually faces instead is that the announced event won't happen.

Some offbeat opportunities occasionally arise in the arbitrage field. I participated in one of these when I was 24 and working in New York for Graham-Newman Corp. Rockwood & Co., a Brooklyn-based chocolate products company of limited profitability, had adopted LIFO inventory valuation in 1941 when cocoa was selling for 5 cents per pound. In 1954 a temporary shortage of cocoa caused the price to soar to over 60 cents. Consequently Rockwood wished to unload its valuable inventory-quickly, before the price dropped. But if the cocoa had simply been sold off, the company would have owed close to a 50% tax on the proceeds.

The 1954 Tax Code came to the rescue. It contained an arcane provision that eliminated the tax otherwise due on LIFO profits if inventory was distributed to shareholders as part of a plan reducing the scope of a corporation's business. Rockwood decided to terminate one of its businesses, the sale of cocoa butter, and said 13 million pounds of its cocoa bean inventory was attributable to that activity. Accordingly, the company offered to repurchase its stock in exchange for the cocoa beans it no longer needed, paying 80 pounds of beans for each share.

For several weeks I busily bought shares, sold beans, and made periodic stops at Schroeder Trust to exchange stock certificates for warehouse receipts. The profits were good and my only expense was subway tokens.

The architect of Rockwood's restructuring was an unknown, but brilliant Chicagoan, Jay Pritzker, then 32. If you're familiar with Jay's subsequent record, you won't be surprised to hear the action worked out rather well for Rockwood's continuing shareholders also. From shortly before the tender until shortly after it, Rockwood stock appreciated from 15 to 100, even though the company was experiencing large operating losses. Sometimes there is more to stock valuation than price-earnings ratios.

In recent years, most arbitrage operations have involved takeovers, friendly and unfriendly. With acquisition fever rampant, with anti-trust challenges almost non-existent, and with bids often ratcheting upward, arbitrageurs have prospered mightily. They have not needed special talents to do well; the trick, à la Peter Sellers in the movie, has simply been "Being There." In Wall Street the old proverb has been reworded: "Give a man a fish and you feed him for a day. Teach him how to arbitrage and you feed him forever." (If, however, he studied at the Ivan Boesky School of Arbitrage, it may be a state institution that supplies his meals.)

To evaluate arbitrage situations you must answer four questions: (1) How likely is it that the promised event will indeed occur? (2) How long will your money be tied up? (3) What chance is there that something still better will transpire-a competing takeover bid, for example? and (4) What will happen if the event does not take place because of anti-trust action, financing glitches, etc.?

Arcata Corp., one of our more serendipitous arbitrage experiences, illustrates the twists and turns of the business. On September 28, 1981 the directors of Arcata agreed in principle to sell the company to Kohlberg Kravis Roberts & Co. (KKR), then and now a major leveraged-buyout firm. Arcata was in the printing and forest products businesses and had one other thing going for it: In 1978 the U.S. Government had taken title to 10,700 acres of Arcata timber, primarily old-growth redwood, to expand Redwood National Park. The government had paid $97.9 million, in several installments, for this acreage, a sum Arcata was contesting as grossly inadequate. The parties also disputed the interest rate that should apply to the period between the taking of the property and final payment for it. The enabling legislation stipulated 6% simple interest; Arcata argued for a much higher and compounded rate.

Buying a company with a highly-speculative, large-sized claim in litigation creates a negotiating problem, whether the claim is on behalf of or against the company. To solve this problem, KKR offered $37.00 per Arcata share plus two-thirds of any additional amounts paid by the government for the redwood lands.

Appraising this arbitrage opportunity, we had to ask ourselves whether KKR would consummate the transaction since, among other things, its offer was contingent upon its obtaining "satisfactory financing." A clause of this kind is always dangerous for the seller: It offers an easy exit for a suitor whose ardor fades between proposal and marriage. However, we were not particularly worried

about this possibility because KKR's past record for closing had been good.

We also had to ask ourselves what would happen if the KKR deal did fall through, and here we also felt reasonably comfortable: Arcata's management and directors had been shopping the company for some time and were clearly determined to sell. If KKR went away, Arcata would likely find another buyer, though of course, the price might be lower.

Finally, we had to ask ourselves what the redwood claim might be worth. Your Chairman, who can't tell an elm from an oak, had no trouble with that one: He coolly evaluated the claim at somewhere between zero and a whole lot.

We started buying Arcata stock, then around $33.50, on September 30 and in eight weeks purchased about 400,000 shares, or 5% of the company. The initial announcement said that the $37.00 would be paid in January, 1982. Therefore, if everything had gone perfectly, we would have achieved an annual rate of return of about 40%-not counting the redwood claim, which would have been frosting.

All did not go perfectly. In December it was announced that the closing would be delayed a bit. Nevertheless, a definitive agreement was signed on January 4. Encouraged, we raised our stake, buying at around $38.00 per share and increasing our holdings to 655,000 shares, or over 7% of the company. Our willingness to pay up-even though the closing had been postponed-reflected our leaning toward "a whole lot" rather than "zero" for the redwoods.

Then, on February 25 the lenders said they were taking a "second look" at financing terms "in view of the severely depressed housing industry and its impact on Arcata's outlook." The stockholders' meeting was postponed again, to April. An Arcata spokesman said he "did not think the fate of the acquisition itself was imperiled." When arbitrageurs hear such reassurances, their minds flash to the old saying: "He lied like a finance minister on the eve of devaluation."

On March 12 KKR said its earlier deal wouldn't work, first cutting its offer to $33.50, then two days later raising it to $35.00. On March 15, however, the directors turned this bid down and accepted another group's offer of $37.50 plus one-half of any redwood recovery. The shareholders okayed the deal, and the $37.50 was paid on June 4.

We received $24.6 million versus our cost of $22.9 million; our average holding period was close to six months. Considering the trouble this transaction encountered, our 15% annual rate of return-excluding any value for the redwood claim-was more than satisfactory.

But the best was yet to come. The trial judge appointed two commissions, one to look at the timber's value, the other to consider the interest rate questions. In January 1987, the first commission said the redwoods were worth $275.7 million and the second commission recommended a compounded, blended rate of return working out to about 14%.

In August 1987 the judge upheld these conclusions, which meant a net amount of about $600 million would be due Arcata. The government then appealed. In 1988, though, before this appeal was heard, the claim was settled for $519 million. Consequently, we received an additional $29.48 per share, or about $19.3 million. We will get another $800,000 or so in 1989.

Berkshire's arbitrage activities differ from those of many arbitrageurs. First, we participate in only a few, and usually very large, transactions each year. Most practitioners buy into a great many deals-perhaps 50 or more per year. With that many irons in the fire, they must spend most of their time monitoring both the progress of deals and the market movements of the related stocks. This is not how Charlie nor I wish to spend our lives. (What's the sense in getting rich just to stare at a ticker tape all day?)

Because we diversify so little, one particularly profitable or unprofitable transaction will affect our yearly result from arbitrage far more than it will the typical arbitrage operation. So far, Berkshire has not had a really bad experience. But we will-and when it happens we'll report the gory details to you.

The other way we differ from some arbitrage operations is that we participate only in transactions that have been publicly announced. We do not trade on rumors or try to guess takeover candidates. We just read the newspapers, think about a few of the big propositions, and go by our own sense of probabilities.

At yearend, our only major arbitrage position was 3,342,000 shares of RJR Nabisco with a cost of $281.8 million and a market value of $304.5 million. In January we increased our holdings to roughly four million shares and in February we eliminated our position. About three million shares were accepted when we tendered our holdings to KKR, which acquired RJR, and the returned

shares were promptly sold in the market. Our pre-tax profit was a better-than-expected $64 million.

Earlier, another familiar face turned up in the RJR bidding contest: Jay Pritzker, who was part of a First Boston group that made a tax-oriented offer. To quote Yogi Berra; "It was déjà vu all over again."

During most of the time when we normally would have been purchasers of RJR, our activities in the stock were restricted because of Salomon's participation in a bidding group. Customarily, Charlie and I, though we are directors of Salomon, are walled off from information about its merger and acquisition work. We have asked that it be that way: The information would do us no good and could, in fact, occasionally inhibit Berkshire's arbitrage operations.

However, the unusually large commitment that Salomon proposed to make in the RJR deal required that all directors be fully informed and involved. Therefore, Berkshire's purchases of RJR were made at only two times: first, in the few days immediately following management's announcement of buyout plans, before Salomon became involved; and considerably later, after the RJR board made its decision in favor of KKR. Because we could not buy at other times, our directorships cost Berkshire significant money.

Considering Berkshire's good results in 1988, you might expect us to pile into arbitrage during 1989. Instead, we expect to be on the sidelines.

One pleasant reason is that our cash holdings are down-because our position in equities that we expect to hold for a very long time is substantially up. As regular readers of this report know, our new commitments are not based on a judgment about short-term prospects for the stock market. Rather, they reflect an opinion about long-term business prospects for specific companies. We do not have, never have had, and never will have an opinion about where the stock market, interest rates, or business activity will be a year from now.

Even if we had a lot of cash we probably would do little in arbitrage in 1989. Some extraordinary excesses have developed in the takeover field. As Dorothy says: "Toto, I have a feeling we're not in Kansas any more."

We have no idea how long the excesses will last, nor do we know what will change the attitudes of government, lender and buyer that fuel them. But we do know that the less the prudence

with which others conduct their affairs, the greater the prudence with which we should conduct our own affairs. We have no desire to arbitrage transactions that reflect the unbridled - and, in our view, often unwarranted-optimism of both buyers and lenders. In our activities, we will heed the wisdom of Herb Stein: "If something can't go on forever, it will end."

We told you last year that we expected to do little in arbitrage during 1989, and that's the way it turned out. Arbitrage positions are a substitute for short-term cash equivalents, and during part of the year we held relatively low levels of cash. In the rest of the year we had a fairly good-sized cash position and even so chose not to engage in arbitrage. The main reason was corporate transactions that made no economic sense to us; arbitraging such deals comes too close to playing the greater-fool game. (As Wall Streeter Ray DeVoe says: "Fools rush in where angels fear to trade.") We will engage in arbitrage from time to time-sometimes on a large scale-but only when we like the odds.

C. *Debunking Standard Dogma*[18]

The preceding discussion about arbitrage makes a small discussion of "efficient market theory" (EMT) also seem relevant. This doctrine became highly fashionable-indeed, almost holy scripture-in academic circles during the 1970s. Essentially, it said that analyzing stocks was useless because all public information about them was appropriately reflected in their prices. In other words, the market always knew everything. As a corollary, the professors who taught EMT said that someone throwing darts at the stock tables could select a stock portfolio having prospects just as good as one selected by the brightest, most hard-working securityanalyst. Amazingly, EMTwas embraced not only by academics, but by many investment professionals and corporate managers as well. Observing correctly that the market was *frequently* efficient, they went on to conclude incorrectly that it was *always* efficient. The difference between these propositions is night and day.

In my opinion, the continuous 63-year arbitrage experience of Graham-Newman Corp., Buffett Partnership, and Berkshire illustrates just how foolish EMT is. (There's plenty of other evidence, also.) While at Graham-Newman, I made a study of its earnings from arbitrage during the entire 1926-1956 lifespan of the com-

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18 [Divided by hash lines: 1988; 1988; 1993; 1986; 1991; 1987.]

pany. Unleveraged returns averaged 20% per year. Starting in 1956, I applied Ben Graham's arbitrage principles, first at Buffett Partnership and then Berkshire. Though I've not made an exact calculation, I have done enough work to know that the 1956-1988 returns averaged well over 20%. (Of course, I operated in an environment far more favorable than Ben's; he had 1929-1932 to contend with.)

All of the conditions are present that are required for a fair test of portfolio performance: (1) the three organizations traded hundreds of different securities while building this 63-year record; (2) the results are not skewed by a few fortunate experiences; (3) we did not have to dig for obscure facts or develop keen insights about products or managements-we simply acted on highly-publicized events; and (4) our arbitrage positions were a clearly identified universe-they have not been selected by hindsight.

Over the 63 years, the general market delivered just under a 10% annual return, including dividends. That means $1,000' would have grown to $405,000 if all income had been reinvested. A 20% rate of return, however, would have produced $97 million. That strikes us a statistically-significant differential that might, conceivably, arouse one's curiosity.

Yet proponents of the theory have never seemed interested in discordant evidence of this type. True, they don't talk quite as much about their theory today as they used to. But no one, to my knowledge, has ever said he was wrong, no matter how many thousands of students he has sent forth misinstructed. EMT, moreover, continues to be an integral part of the investment curriculum at major business schools. Apparently, a reluctance to recant, and thereby to demystify the priesthood, is not limited to theologians.

Naturally the disservice done students and gullible investment professionals who have swallowed EMT has been an extraordinary service to us and other followers of Graham. In any sort of a contest-financial, mental, or physical-it's an enormous advantage to have opponents who have been taught that it's useless to even try. From a selfish point of view, Grahamites should probably endow chairs to ensure the perpetual teaching of EMT.

All this said, a warning is appropriate. Arbitrage has looked easy recently. But this is not a form of investing that guarantees profits of 20% a year or, for that matter, profits of any kind. As noted, the market is reasonably efficient much of the time: For every arbitrage opportunity we seized in that 63-year period, many more were foregone because they seemed properly-priced.

An investor cannot obtain superior profits from stocks by simply committing to a specific investment category or style. He can earn them only by carefully evaluating facts and continuously exercising discipline. Investing in arbitrage situations, per se, is no better a strategy than selecting a portfolio by throwing darts.

[W]hen we own portions of outstanding businesses with outstanding managements, our favorite holding period is forever. We are just the opposite of those who hurry to sell and book profits when companies perform well but who tenaciously hang on to businesses that disappoint. Peter Lynch aptly likens such behavior to cutting the flowers and watering the weeds.

[W]e continue to think that it is usually foolish to part with an interest in a business that is both understandable and durably wonderful. Business interests of that kind are simply too hard to replace.

Interestingly, corporate managers have no trouble understanding that point when they are focusing on a business they operate: A parent company that owns a subsidiary with superb long-term economics is not likely to sell that entity regardless of price. "Why," the CEO would ask, "should I part with my crown jewel?" Yet that same CEO, when it comes to running his personal investment portfolio, will offhandedly-and even impetuously-move from business to business when presented with no more than superficial arguments by his broker for doing so. The worst of these is perhaps, "You can't go broke taking a profit." Can you imagine a CEO using this line to urge his board to sell a star subsidiary? **In** our view, what makes sense in business also makes sense in stocks: An investor should ordinarily hold a small piece of an outstanding business with the same tenacity that an owner would exhibit if he owned all of that business.

Earlier I mentioned the financial results that could have been achieved by investing $40 in The Coca-Cola Co. in 1919.[19] **In** 1938, more than 50 years after the introduction of Coke, and long after

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19 [A separate paragraph from this 1993 letter provided as follows:]

Let me add a lesson from history: Coke went public in 1919 at $40 per share. By the end of 1920 the market, coldly reevaluating Coke's future prospects, had battered the stock down by more than 50%, to $19.50. At yearend 1993, that single share, with dividends reinvested, was worth more than $2.1 million. As Ben Graham said: "In the short-run, the market is a voting machine-reflecting a voter-registration test that requires only money, not intelligence or emotional stability-but in the long-run, the market is a weighing machine."

the drink was firmly established as an American icon, *Fortune* did an excellent story on the company. In the second paragraph the writer reported: "Several times every year a weighty and serious investor looks long and with profound respect at Coca-Cola's record, but comes regretfully to the conclusion that he is looking too late. The specters of saturation and competition rise before him."

Yes, competition there was in 1938 and in 1993 as well. But it's worth noting that in 1938 The Coca-Cola Co. sold 207 million cases of soft drinks (if its gallonage then is converted into the 192-ounce cases used for measurement today) and in 1993 it sold about 10.7 billion cases, a 50-fold increase in physical volume from a company that in 1938 was already dominant in its very major industry. Nor was the party over in 1938 for an investor: Though the $40 invested in 1919 in one share had (with dividends reinvested) turned into $3,277 by the end of 1938, a fresh $40 then invested in Coca-Cola stock would have grown to $25,000 by yearend 1993.

I can't resist one more quote from that 1938 *Fortune* story: "It would be hard to name any company comparable in size to Coca-Cola and selling, as Coca-Cola does, an unchanged product that can point to a ten-year record anything like Coca-Cola's." In the 55 years that have since passed, Coke's product line has broadened somewhat, but it's remarkable how well that description still fits.

Charlie and I decided long ago that in an investment lifetime it's too hard to make hundreds of smart decisions. That judgment became ever more compelling as Berkshire's capital mushroomed and the universe of investments that could significantly affect our results shrank dramatically. Therefore, we adopted a strategy that required our being smart-and not too smart at that-only a very few times. Indeed, we'll now settle for one good idea a year. (Charlie says it's my turn.)

The strategy we've adopted precludes our following standard diversification dogma. Many pundits would therefore say the strategy must be riskier than that employed by more conventional investors. We disagree. We believe that a policy of portfolio concentration may well *decrease* risk if it raises, as it should, both the intensity with which an investor thinks about a business and the comfort-level he must feel with its economic characteristics before buying into it. In stating this opinion, we define risk, using dictionary terms, as "the possibility of loss or injury."

Academics, however, like to define investment "risk" differently, averring that it is the relative volatility of a stock or portfolio of stocks-that is, their volatility as compared to that of a large

universe of stocks. Employing data bases and statistical skills, these academics compute with precision the "beta" of a stock-its relative volatility in the past-and then build arcane investment and capital-allocation theories around this calculation. In their hunger for a single statistic to measure risk, however, they forget a fundamental principle: It is better to be approximately right than precisely wrong.

For owners of a business-and that's the way we think of shareholders-the academics' definition of risk is far off the mark, so much so that it produces absurdities. For example, under beta-based theory, a stock that has dropped very sharply compared to the market-as had Washington Post when we bought it in 1973-becomes "riskier" at the lower price than it was at the higher price. Would that description have then made any sense to someone who was offered the entire company at a vastly-reduced price?

In fact, the true investor *welcomes* volatility. Ben Graham explained why in Chapter 8 of *The Intelligent Investor.* There he introduced "Mr. Market," an obliging fellow who shows up every day to either buy from you or sell to you, whichever you wish. The more manic-depressive this chap is, the greater the opportunities available to the investor. That's true because a wildly fluctuating market means that irrationally low prices will periodically be attached to solid businesses. It is impossible to see how the availability of such prices can be thought of as increasing the hazards for an investor who is totally free to either ignore the market or exploit its folly.

In assessing risk, a beta purist will disdain examining what a company produces, what its competitors are doing, or how much borrowed money the business employs. He may even prefer not to know the company's name. What he treasures is the price history of its stock. In contrast, we'll happily forgo knowing the price history and instead will seek whatever information will further our understanding of the company's business. After we buy a stock, consequently, we would not be disturbed if markets closed for a year or two. We don't need a daily quote on our 100% position in See's or H.H. Brown to validate our well-being. Why, then, should we need a quote on our 7% interest in Coke?

In our opinion, the real risk an investor must assess is whether his aggregate after-tax receipts from an investment (including those he receives on sale) will, over his prospective holding period, give him at least as much purchasing power as he had to begin with, plus a modest rate of interest on that initial stake. Though

this risk cannot be calculated with engineering precision, it can in some cases be judged with a degree of accuracy that is useful. The primary factors bearing upon this evaluation are:

1) The certainty with which the long-term economic characteristics of the business can be evaluated;
2) The certainty with which management can be evaluated, both as to its ability to realize the full potential of the business and to wisely employ its cash flows;
3) The certainty with which management can be counted on to channel the reward from the business to the shareholders rather than to itself;
4) The purchase price of the business;
5) The levels of taxation and inflation that will be experienced and that will determine the degree by which an investor's purchasing-power return is reduced from his gross return.

These factors will probably strike many analysts as unbearably fuzzy since they cannot be extracted from a data base of any kind. But the difficulty of precisely quantifying these matters does not negate their importance nor is it insuperable. Just as Justice Stewart found it impossible to formulate a test for obscenity but nevertheless asserted, "I know it when I see it," so also can investors-in an inexact but useful way-"see" the risks inherent in certain investments without reference to complex equations or price histories.

Is it really so difficult to conclude that Coca-Cola and Gillette possess far less business risk over the long term than, say, any computer company or retailer? Worldwide, Coke sells about 44% of all soft drinks, and Gillette has more than a 60% share (in value) of the blade market. Leaving aside chewing gum, in which Wrigley is dominant, I know of no other significant businesses in which the leading company has long enjoyed such global power.

Moreover, both Coke and Gillette have actually increased their worldwide shares of market in recent years. The might of their brand names, the attributes of their products, and the strength of their distribution systems give them an enormous competitive advantage, setting up a protective moat around their economic castles. The average company, in contrast, does battle daily without any such means of protection. As Peter Lynch says, stocks of companies selling commodity-like products should come with a warning label: "Competition may prove hazardous to human wealth."

The competitive strengths of a Coke or Gillette are obvious to even the casual observer of business. Yet the beta of their stocks is similar to that of a great many run-of-the-mill companies who possess little or no competitive advantage. Should we conclude from this similarity that the competitive strength of Coke and Gillette gains them nothing when business risk is being measured? Or should we conclude that the risk in owning a piece of a company-its stock-is somehow divorced from the long-term risk inherent in its business operations? We believe neither conclusion makes sense and that equating beta with investment risk makes no sense.

The theoretician bred on beta has no mechanism for differentiating the risk inherent in, say, a single-product toy company selling pet rocks or hula hoops from that of another toy company whose sole product is Monopoly or Barbie. But it's quite possible for ordinary investors to make such distinctions if they have a reasonable understanding of consumer behavior and the factors that create long-term competitive strength or weakness. Obviously, every investor will make mistakes. But by confining himself to a relatively few, easy-to-understand cases, a reasonably intelligent, informed and diligent person can judge investment risks with a useful degree of accuracy.

In many industries, of course, Charlie and I can't determine whether we are dealing with a "pet rock" or a "Barbie." We couldn't solve this problem, moreover, even if we were to spend years intensely studying those industries. Sometimes our own intellectual shortcomings would stand in the way of understanding, and in other cases the nature of the industry would be the roadblock. For example, a business that must deal with fast-moving technology is not going to lend itself to reliable evaluations of its long-term economics. Did we foresee thirty years ago what would transpire in the television-manufacturing or computer industries? Of course not. (Nor did most of the investors and corporate managers who enthusiastically entered those industries.) Why, then, should Charlie and I now think we can predict the future of other rapidly-evolving businesses? We'll stick instead with the easy cases. Why search for a needle buried in a haystack when one is sitting in plain sight?

Of course, some investment strategies-for instance, our efforts in arbitrage over the years-require wide diversification. If significant risk exists in a single transaction, overall risk should be reduced by making that purchase one of many mutually-independent commitments. Thus, you may consciously purchase a risky in-

vestment-one that indeed has a significant possibility of causing loss or injury-if you believe that your gain, weighted for probabilities, considerably exceeds your loss, comparably weighted, and if you can commit to a number of similar, but unrelated opportunities. Most venture capitalists employ this strategy. Should you choose to pursue this course, you should adopt the outlook of the casino that owns a roulette wheel, which will want to see lots of action because it is favored by probabilities; but will refuse to accept a single, huge bet.

Another situation requiring wide diversification occurs when an investor who does not understand the economics of specific businesses nevertheless believes it in his interest to be a long-term owner of American industry. That investor should both own a large number of equities and space out his purchases. By periodically investing in an index fund, for example, the know-nothing investor can actually out-perform most investment professionals. Paradoxically, when "dumb" money acknowledges its limitations, it ceases to be dumb.

On the other hand, if you are a know-something investor, able to understand business economics and to find five to ten sensibly-priced companies that possess important long-term competitive advantages, conventional diversification makes no sense for you. It is apt simply to hurt your results and increase your risk. I cannot understand why an investor of that sort elects to put money into a business that is his 20th favorite rather than simply adding that money to his top choices-the businesses he understands best and that present the least risk, along with the greatest profit potential. In the words of the prophet Mae West: "Too much of a good thing can be wonderful."

We should note that we expect to keep permanently our three primary holdings, Capital Cities/ABC, Inc., GEICO Corporation, and The Washington Post. Even if these securities were to appear significantly overpriced, we would not anticipate selling them, just as we would not sell See's or Buffalo Evening News if someone were to offer us a price far above what we believe those businesses are worth.

This attitude may seem old-fashioned in a corporate world in which activity has become the order of the day. The modern manager refers to his "portfolio" of businesses-meaning that all of them are candidates for "restructuring" whenever such a move is dictated by Wall Street preferences, operating conditions or a new

corporate "concept." (Restructuring is defined narrowly, however: it extends only to dumping offending businesses, not to dumping the officers and directors who bought the businesses in the first place. "Hate the sin but love the sinner" is a theology as popular with the Fortune 500 as it is with the Salvation Army.)

Investment managers are even more hyperkinetic: their behavior during trading hours makes whirling dervishes appear sedated by comparison. Indeed, the term "institutional investor" is becoming one of those self-contradictions called an oxymoron, comparable to "jumbo shrimp," "lady mudwrestler" and "inexpensive lawyer."

Despite the enthusiasm for activity that has swept business and financial America, we will stick with our 'til-death-do-us-part policy. It's the only one with which Charlie and I are comfortable, it produces decent results, and it lets our managers and those of our investees run their businesses free of distractions.

Our stay-put behavior reflects our view that the stock market serves as a relocation center at which money is moved from the active to the patient. (With tongue only partly in check, I suggest that recent events indicate that the much-maligned "idle rich" have received a bad rap: They have maintained or increased their wealth while many of the "energetic rich"-aggressive real estate operators, corporate acquirers, oil drillers, etc.-have seen their fortunes disappear.)

We continually search for large businesses with understandable, enduring and mouth-watering economics that are run by able and shareholder-oriented managements. This focus doesn't guarantee results: We both have to buy at a sensible price and get business performance from our companies that validates our assessment. But this investment approach-searching for the superstars-offers us our only chance for real success. Charlie and I are simply not smart enough, considering the large sums we work with, to get great results by adroitly buying and selling portions of far-from-great businesses. Nor do we think many others can achieve long-term investment success by flitting from flower to flower. Indeed, we believe that according the name "investors" to institutions that trade actively is like calling someone who repeatedly engages in one-night stands a romantic.

If my universe of business possibilities was limited, say, to private companies in Omaha, I would, first, try to assess the long-term

economic characteristics of each business; second, assess the quality of the people in charge of running it; and, third, try to buy into a few of the best operations at a sensible price. I certainly would not wish to own an equal part of every business in town. Why, then, should Berkshire take a different tack when dealing with the larger universe of public companies? And since finding great businesses and outstanding managers is so difficult, why should we discard proven products? (I was tempted to say "the real thing.") Our motto is: "If at first you do succeed, quit trying."

John Maynard Keynes, whose brilliance as a practicing investor matched his brilliance in thought, wrote a letter to a business associate, F.e. Scott, on August 15, 1934 that says it all: "As time goes on, 1 get more and more convinced that the right method in investment is to put fairly large sums into enterprises which one thinks one knows something about and in the management of which one thoroughly believes. It is a mistake to think that one limits one's risk by spreading too much between enterprises about which one knows little and has no reason for special confidence .... One's knowledge and experience are definitely limited and there are seldom more than two or three enterprises at any given time in which 1 personally feel myself entitled to put *full* confidence."

During 1987 the stock market was an area of much excitement but little net movement: The Dow advanced 2.3% for the year. You are aware, of course, of the roller coaster ride that produced this minor change. Mr. Market was on a manic rampage until October and then experienced a sudden, massive seizure.

We have "professional" investors, those who manage many billions, to thank for most of this turmoil. Instead of focusing on what businesses will do in the years ahead, many prestigious money managers now focus on what they expect other money managers to do in the days ahead. For them, stocks are merely tokens in a game, like the thimble and flatiron in Monopoly.

An extreme example of what their attitude leads to is "portfolio insurance," a money-management strategy that many leading investment advisors embraced in 1986-1987. This strategy-which is simply an exotically-labeled version of the small speculator's stop-loss order-dictates that ever-increasing portions of a stock portfolio, or their index-future equivalents, be sold as prices decline. The strategy says nothing else matters: A downtick of a given magnitude automatically produces a huge sell order. Ac-

cording to the Brady Report, $60 billion to $90 billion of equities were poised on this hair trigger in mid-October of 1987.

If you've thought that investment advisors were hired to invest, you may be bewildered by this technique. After buying a farm, would a rational owner next order his real estate agent to start selling off pieces of it whenever a neighboring property was sold at a lower price? Or would you sell your house to whatever bidder was available at 9:31 on some morning merely because at 9:30 a similar house sold for less than it would have brought on the previous day?

Moves like that, however, are what portfolio insurance tells a pension fund or university to make when it owns a portion of enterprises such as Ford or General Electric. The less these companies are being valued at, says this approach, the more vigorously they should be sold. As a "logical" corollary, the approach commands the institutions to repurchase these companies-I'm *not making this up-once* their prices have rebounded significantly. Considering that huge sums are controlled by managers following such Alice-in-Wonderland practices, is it any surprise that markets sometimes behave in aberrational fashion?

Many commentators, however, have drawn an incorrect conclusion upon observing recent events: They are fond of saying that the small investor has no chance in a market now dominated by the erratic behavior of the big boys. This conclusion is dead wrong: Such markets are ideal for any investor-small or large-so long as he sticks to his investment knitting. Volatility caused by money managers who speculate irrationally with huge sums will offer the true investor more chances to make intelligent investment moves. He can be hurt by such volatility only if he is forced, by either financial or psychological pressures, to sell at untoward times.

D. *"Value" Investing: A Redundancy*[20]

We really don't see many fundamental differences between the purchase of a controlled business and the purchase of marketable holdings . . . . In each case we try to buy into businesses with favorable long-term economics. Our goal is to find an outstanding business at a sensible price, not a mediocre business at a bargain price. Charlie and I have found that making silk purses out of silk is the best that we can do; with sow's ears, we fail.

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20 [Divided by hash lines: 1987; 1992; 1985.]

(It must be noted that your Chairman, always a quick study, required only 20 years to recognize how important it was to buy good businesses. In the interim, I searched for "bargains"-and had the misfortune to find some. My punishment was an education in the economics of short-line farm implement manufacturers, third-place department stores, and New England textile manufacturers.)

Of course, Charlie and I may misread the fundamental economics of a business. When that happens, we will encounter problems whether that business is a wholly-owned subsidiary or a marketable security, although it is usually far easier to exit from the latter. (Indeed, businesses can be misread: Witness the European reporter who, after being sent to this country to profile Andrew Carnegie, cabled his editor, "My God, you'll never believe the sort of money there is in running libraries.") .

In making both control purchases and stock purchases, we try to buy not only good businesses, but ones run by high-grade, talented and likeable managers. If we make a mistake about the managers we link up with, the controlled company offers a certain advantage because we have the power to effect change. In practice, however, this advantage is somewhat illusory: Management changes, like marital changes, are painful, time-consuming and chancy. In any event, at our three marketable-but-permanent holdings, this point is moot: With Tom Murphy and Dan Burke at Cap Cities, Bill Snyder and Lou Simpson at GEIeO, and Kay Graham and Dick Simmons at The Washington Post, we simply couldn't be in better hands.

I would say that the controlled company offers two main advantages. First, when we control a company we get to allocate capital, whereas we are likely to have little or nothing to say about this process with marketable holdings. This point can be important because the heads of many companies are not skilled in capital allocation. Their inadequacy is not surprising. Most bosses rise to the top because they have excelled in an area such as marketing, production, engineering, administration-or, sometimes, institutional politics.

Once they become CEOs, they face new responsibilities. They now must make capital allocation decisions, a critical job that they may have never tackled and that is not easily mastered. To stretch the point, it's as if the final step for a highly-talented musician was not to perform at Carnegie Hall but, instead, to be named Chairman of the Federal Reserve.

The lack of skill that many CEOs have at capital allocation is no small matter: After ten years on the job, a CEO whose company annually retains earnings equal to 10% of net worth will have been responsible for the deployment of more than 60% of all the capital at work in the business.

CEOs who recognize their lack of capital-allocation skills (which not all do) will often try to compensate by turning to their staffs, management consultants, or investment bankers. Charlie and I have frequently observed the consequences of such "help." On balance, we feel it is more likely to accentuate the capital-allocation problem than to solve it.

In the end, plenty of unintelligent capital allocation takes place in corporate America. (That's why you hear so much about "restructuring.") Berkshire, however, has been fortunate. At the companies that are our major non-controlled holdings, capital has generally been well-deployed and, in some cases, brilliantly so.

The second advantage of a controlled company over a marketable security has to do with taxes. Berkshire, as a corporate holder, absorbs some significant tax costs through the ownership of partial positions that we do not when our ownership is 80% or greater. Such tax disadvantages have long been with us, but changes in the tax code caused them to increase significantly during [1986]. As a consequence, a given business result can now deliver Berkshire financial results that are as much as 50% better if they come from an 80%-or-greater holding rather than from a lesser holding.

The disadvantages of owning marketable securities are sometimes offset by a huge advantage: Occasionally the stock market offers us the chance to buy non-controlling pieces of extraordinary businesses at truly ridiculous prices-dramatically below those commanded in negotiated transactions that transfer control. For example, we purchased our Washington Post stock in 1973 at $5.63 per share, and per-share operating earnings in 1987 after taxes were $10.30. Similarly, our GEICO stock was purchased in 1976, 1979 and 1980 at an average of $6.67 per share, and after-tax operating earnings per share last year were $9.01. In cases such as these, Mr. Market has proven to be a mighty good friend.

Our equity-investing strategy remains little changed from what it was ... when we said in the 1977 annual report: "We select our marketable equity securities in much the way we would evaluate a business for acquisition in its entirety. We want the business to be

one (a) that we can understand; (b) with favorable long-term prospects; (c) operated by honest and competent people; and (d) available at a very attractive price." We have seen cause to make only one change in this creed: Because of both market conditions and our size, we now substitute "an attractive price" for "a very attractive price."

But how, you will ask, does one decide what's "attractive"? In answering this question, most analysts feel they must choose between two approaches customarily thought to be in opposition: "value" and "growth." Indeed, many investment professionals see any mixing of the two terms as a form of intellectual cross-dressing.

We view that as fuzzy thinking (in which, it must be confessed, I myself engaged some years ago). In our opinion, the two approaches are joined at the hip: Growth is *always* a component in the calculation of value, constituting a variable whose importance can range from negligible to enormous and whose impact can be negative as well as positive.

In addition, we think the very term "value investing" is redundant. What is "investing" if it is not the act of seeking value at least sufficient to justify the amount paid? Consciously paying more for a stock than its calculated value-in the hope that it can soon be sold for a still-higher price-should be labeled speculation (which is neither illegal, immoral nor-in our view-financially fattening).

Whether appropriate or not, the term "value investing" is widely used. Typically, it connotes the purchase of stocks having attributes such as a low ratio of price to book value, a low price-earnings ratio, or a high dividend yield. Unfortunately, such characteristics, even if they appear in combination, are far from determinative as to whether an investor is indeed buying something for what it is worth and is therefore truly operating on the principle of obtaining value in his investments. Correspondingly, opposite characteristics-a high ratio of price to book value, a high price-earnings ratio, and a low dividend yield-are in no way inconsistent with a "value" purchase.

Similarly, business growth, per se, tells us little about value. It's true that growth often has a positive impact on value, sometimes one of spectacular proportions. But such an effect is far from certain. For example, investors have regularly poured money into the domestic airline business to finance profitless (or worse) growth. For these investors, it would have been far better if Orville had failed to get off the ground at Kitty Hawk: The more the industry has grown, the worse the disaster for owners.

Growth benefits investors only when the business in point can invest at incremental returns that are enticing-in other words, only when each dollar used to finance the growth creates over a dollar of long-term market value. **In** the case of a low-return business requiring incremental funds, growth hurts the investor.

In *The Theory of Investment Value,* written over 50 years ago, John Burr Williams set forth the equation for value, which we condense here: *The value of any stock, bond or business today is determined by the cash inflows and outflows-discounted at an appropriate interest rate-that can be expected to occur during the remaining life of the asset.* Note that the formula is the same for stocks as for bonds. Even so, there is an important, and difficult to deal with, difference between the two: A bond has a coupon and maturity date that define future cash flows; but in the case of equities, the investment analyst must himself estimate the future "coupons." Furthermore, the quality of management affects the bond coupon only rarely-chiefly when management is so inept or dishonest that payment of interest is suspended. **In** contrast, the ability of management can dramatically affect the equity "coupons."

The investment shown by the discounted-flows-of-cash calculation to be the cheapest is the one that the investor should purchase-irrespective of whether the business grows or doesn't, displays volatility or smoothness in its earnings, or carries a high price or low in relation to its current earnings and book value. Moreover, though the value equation has usually shown equities to be cheaper than bonds, that result is not inevitable: When bonds are calculated to be the more attractive investment, they should be bought.

Leaving the question of price aside, the best business to own is one that over an extended period can employ large amounts of incremental capital at very high rates of return. The worst business to own is one that must, or *will,* do the opposite-that is, consistently employ ever-greater amounts of capital at very low rates of return. Unfortunately, the first type of business is very hard to find: Most high-return businesses need relatively little capital. Shareholders of such a business usually will benefit if it pays out most of its earnings in dividends or makes significant stock repurchases.

Though the mathematical calculations required to evaluate equities are not difficult, an analyst-even one who is experienced and intelligent-can easily go wrong in estimating future "coupons." At Berkshire, we attempt to deal with this problem in two

ways. First, we try to stick to businesses we believe we understand. That means they must be relatively simple and stable in character. If a business is complex or subject to constant change, we're not smart enough to predict future cash flows. Incidentally, that shortcoming doesn't bother us. What counts for most people in investing is not how much they know, but rather how realistically they define what they don't know. An investor needs to do very few things right as long as he or she avoids big mistakes.

Second, and equally important, we insist on a margin of safety in our purchase price. If we calculate the value of a common stock to be only slightly higher than its price, we're not interested in buying. We believe this margin-of-safety principle, so strongly emphasized by Ben Graham, to be the cornerstone of investment success.

. . . [A]n intelligent investor in common stocks will do better in the secondary market than he will do buying new issues . . . . The reason has to do with the way prices are set in each instance. The secondary market, which is periodically ruled by mass folly, is constantly setting a "clearing" price. No matter how foolish that price may be, it's what counts for the holder of a stock or bond who needs or wishes to sell, of whom there are always going to be a few at any moment. In many instances, shares worth *x* in business value have sold in the market for Ih.x or less.

The new-issue market, on the other hand, is ruled by controlling stockholders and corporations, who can usually select the timing of offerings or, if the market looks unfavorable, can avoid an offering altogether. Understandably, these sellers are not going to offer any bargains, either by way of a public offering or in a negotiated transaction: It's rare you'll find *x* for ½x here. Indeed, in the case of common-stock offerings, selling shareholders are often motivated to unload only when they feel the market is overpaying. (These sellers, of course, would state that proposition somewhat differently, averring instead that they simply resist selling when the market is underpaying for their goods.)

Right after yearend, Berkshire purchased 3 million shares of Capital Cities/ABC, Inc. ("Cap Cities") at $172.50 per share, the market price of such shares at the time the commitment was made early in March, 1985. I've been on record for many years about the management of Cap Cities: I think it is the best of any publicly-owned company in the country. And Tom Murphy and Dan Burke are not only great managers, they are precisely the sort of fellows

that you would want your daughter to marry. It is a privilege to be associated with them-and also a lot of fun, as any of you who know them will understand.

Our purchase of stock helped Cap Cities finance the $3.5 billion acquisition of American Broadcasting Companies. For Cap Cities, ABC is a major undertaking whose economics are likely to be unexciting over the next few years. This bothers us not an iota; we can be very patient. (No matter how great the talent or effort, some things just take time: you can't produce a baby in one month by getting nine women pregnant.)

As evidence of our confidence, we have executed an unusual agreement: for an extended period Tom, as CEO (or Dan, should he be CEO) votes our stock. This arrangement was initiated by Charlie and me, not by Tom. We also have restricted ourselves in various ways regarding sale of our shares. The object of these restrictions is to make sure that our block does not get sold to anyone who is a large holder (or intends to become a large holder) without the approval of management, an arrangement similar to ones we initiated some years ago at GEICO and Washington Post.

Since large blocks frequently command premium prices, some might think we have injured Berkshire financially by creating such restrictions. Our view is just the opposite. We feel the long-term economic prospects for these businesses-and, thus, for ourselves as owners-are enhanced by the arrangements. With them in place, the first-class managers with whom we have aligned ourselves can focus their efforts entirely upon running the businesses and maximizing long-term values for owners. Certainly this is much better than having those managers distracted by "revolving-door capitalists" hoping to put the company "in play." (Of course, some managers place their own interests above those of the company and its owners and deserve to be shaken up-but, in making investments, we try to steer clear of this type.)

Today, corporate instability is an inevitable consequence of widely-diffused ownership of voting stock. At any time a major holder can surface, usually mouthing reassuring rhetoric but frequently harboring uncivil intentions. By circumscribing our blocks of stock as we often do, we intend to promote stability where it otherwise might be lacking. That kind of certainty, combined with a good manager and a good business, provides excellent soil for a rich financial harvest. That's the economic case for our arrangements.

The human side is just as important. We don't want managers we like and admire-and who have welcomed a major financial commitment by us-to ever lose any sleep wondering whether surprises might occur because of our large ownership. I have told them there will be no surprises, and these agreements put Berkshire's signature where my mouth is. That signature also means the managers have a corporate commitment and therefore need not worry if my personal participation in Berkshire's affairs ends prematurely (a term I define as any age short of three digits).

Our Cap Cities purchase was made at a full price, reflecting the very considerable enthusiasm for both media stocks and media properties that has developed in recent years (and that, in the case of some property purchases, has approached a mania). It's no field for bargains. However, our Cap Cities investment allies us with an exceptional combination of properties and people-and we like the opportunity to participate in size.

Of course, some of you probably wonder why we are now buying Cap Cities at $172.50 per share given that your Chairman, in a characteristic burst of brilliance, sold Berkshire's holdings in the same company at $43 per share in 1978-80. Anticipating your question, I spent much of 1985 working on a snappy answer that would reconcile these acts.

A little more time, please.

E. *Intelligent Investing*[21]

Inactivity strikes us as intelligent behavior. Neither we nor most business managers would dream of feverishly trading highly-profitable subsidiaries because a small move in the Federal Reserve's discount rate was predicted or because some Wall Street pundit had reversed his views on the market. Why, then, should we behave differently with our minority positions in wonderful businesses? The art of investing in public companies successfully is little different from the art of successfully acquiring subsidiaries. In each case you simply want to acquire, at a sensible price, a business with excellent economics and able, honest management. Thereafter, you need only monitor whether these qualities are being preserved.

When carried out capably, an investment strategy of that type will often result in its practitioner owning a few securities that will come to represent a very large portion of his portfolio. This inves-

21 [1996.]

tor would get a similar result if he followed a policy of purchasing an interest in, say, 20% of the future earnings of a number of outstanding college basketball stars. A handful of these would go on to achieve NBA stardom, and the investor's take from them would soon dominate his royalty stream. To suggest that this investor should sell off portions of his most successful investments simply because they have come to dominate his portfolio is akin to suggesting that the Bulls trade Michael Jordan because he has become so important to the team.

In studying the investments we have made in both subsidiary companies and common stocks, you will see that we favor businesses and industries unlikely to experience major change. The reason for that is simple: Making either type of purchase, we are searching for operations that we believe are virtually certain to possess enormous competitive strength ten or twenty years from now. A fast-changing industry environment may offer the chance for huge wins, but it precludes the certainty we seek.

I should emphasize that, as citizens, Charlie and I welcome change: Fresh ideas, new products, innovative processes and the like cause our country's standard of living to rise, and that's clearly good. As investors, however, our reaction to a fermenting industry is much like our attitude toward space exploration: We applaud the endeavor but prefer to skip the ride.

Obviously all businesses change to some extent. Today, See's is different in many ways from what it was in 1972 when we bought it: It offers a different assortment of candy, employs different machinery and sells through different distribution channels. But the reasons why people today buy boxed chocolates, and why they buy them from us rather than from someone else, are virtually unchanged from what they were in the 1920's when the See family was building the business. Moreover, these motivations are not likely to change over the next 20 years, or even 50.

We look for similar predictability in marketable securities. Take Coca-Cola: The zeal and imagination with which Coke products are sold has burgeoned under Roberto Goizueta, who has done an absolutely incredible job in creating value for his shareholders. Aided by Don Keough and Doug Ivester, Roberto has rethought and improved every aspect of the company. But the fundamentals of the business-the qualities that underlie Coke's competitive dominance and stunning economics-have remained constant through the years.

I was recently studying the 1896 report of Coke (and you think that you are behind in your reading!). At that time Coke, though it was already the leading soft drink, had been around for only a decade. But its blueprint for the next 100 years was already drawn. Reporting sales of $148,000 that year, Asa Candler, the company's president, said: "We have not lagged in our efforts to go into all the world teaching that Coca-Cola is the article, par excellence, for the health and good feeling of all people.'; Though "health" may have been a reach, I love the fact that Coke still relies on Candler's basic theme today-a century later. Candler went on to say, just as Roberto could now, "No article of like character has ever so firmly entrenched itself in public favor." Sales of syrup that year, incidentally, were 116,492 gallons versus about 3.2 billion in 1996.

I can't resist one more Candler quote: "Beginning this year about March 1st ... we employed ten traveling salesmen by means of which, with systematic correspondence from the office, we covered almost the territory of the Union." That's my kind of sales force.

Companies such as Coca-Cola and Gillette might well be labeled "The Inevitables." Forecasters may differ a bit in their predictions of exactly how much soft drink or shaving-equipment business these companies will be doing in ten or twenty years. Nor is our talk of inevitability meant to play down the vital work that these companies must continue to carry out, in such areas as manufacturing, distribution, packaging and product innovation. In the end, however, no sensible observer-not even these companies' most vigorous competitors, assuming they are assessing the matter honestly-questions that Coke and Gillette will dominate their fields worldwide for an investment lifetime. Indeed, their dominance will probably strengthen. Both companies have significantly expanded their already huge shares of market during the past ten years, and all signs point to their repeating that performance in the next decade.

Obviously many companies in high-tech businesses or embryonic industries will grow much faster in percentage terms than will The Inevitables. But I would rather be certain of a good result than hopeful of a great one.

Of course, Charlie and I can identify only a few Inevitables, even after a lifetime of looking for them. Leadership alone provides no certainties: Witness the shocks some years back at General Motors, IBM and Sears, all of which had enjoyed long periods of seeming invincibility. Though some industries or lines of busi-

ness exhibit characteristics that endow leaders with virtually insurmountable advantages, and that tend to establish Survival of the Fattest as almost a natural law, most do not. Thus, for every Inevitable, there are dozens of Impostors, companies now riding high but vulnerable to competitive attacks. Considering what it takes to be an Inevitable, Charlie and I recognize that we will never be able to come up with a Nifty Fifty or even a 1\vinkling 1\venty. To the Inevitables in our portfolio, therefore, we add a few "Highly Probables."

You can, of course, pay too much for even the best of businesses. The overpayment risk surfaces periodically and, in our opinion, may now be quite high for the purchasers of virtually all stocks, The Inevitables included. Investors making purchases in an overheated market need to recognize that it may often take an extended period for the value of even an outstanding company to catch up with the price they paid.

A far more serious problem occurs when the management of a great company gets sidetracked and neglects its wonderful base business while purchasing other businesses that are so-so or worse. When that happens, the suffering of investors is often prolonged. Unfortunately, that is precisely what transpired years ago at both Coke and Gillette. (Would you believe that a few decades back they were growing shrimp at Coke and exploring for oil at Gillette?) Loss of focus is what most worries Charlie and me when we contemplate investing in businesses that in general look outstanding. All too often, we've seen value stagnate in the presence of hubris or of boredom that caused the attention of managers to wander. That's not going to happen again at Coke and Gillette, however-not given their current and prospective managements.

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Let me add a few thoughts about your own investments. Most investors, both institutional and individual, will find that the best way to own common stocks is through an index fund that charges minimal fees. Those following this path are sure to beat the net results (after fees and expenses) delivered by the great majority of investment professionals.

Should you choose, however, to construct your own portfolio, there are a few thoughts worth remembering. Intelligent investing is not complex, though that is far from saying that it is easy. What an investor needs is the ability to correctly evaluate selected businesses. Note that word "selected": You don't have to be an expert

on every company, or even many. You only have to be able to evaluate companies within your circle of competence. The size of that circle is not very important; knowing its boundaries, however, is vital.

To invest successfully, you need not understand beta, efficient markets, modern portfolio theory, option pricing, or emerging markets. You may, in fact, be better off knowing nothing of these. That, of course, is not the prevailing view at most business schools, whose finance curriculum tends to be dominated by such subjects. In our view, though, investment students need only two well-taught courses-How to Value a Business, and How to Think About Market Prices.

Your goal as an investor should simply be to purchase, at a rational price, a part interest in an easily-understandable business whose earnings are virtually certain to be materially higher five, ten and twenty years from now. Over time, you will find only a few companies that meet these standards-so when you see one that qualifies, you should buy a meaningful amount of stock. You must also resist the temptation to stray from your guidelines: If you aren't willing to own a stock for ten years, don't even think about owning it for ten minutes. Put together a portfolio of companies whose aggregate earnings march upward over the years, and so also will the portfolio's market value.

Though it's seldom recognized, this is the exact approach that has produced gains for Berkshire shareholders: Our look-through earnings have grown at a good clip over the years, and our stock price has risen correspondingly. Had those gains in earnings not materialized, there would have been little increase in Berkshire's value.

F. *Cigar Butts and the Institutional Imperative*[22]

To quote Robert Benchley, "Having a dog teaches a boy fidelity, perseverance, and to turn around three times before lying down." Such are the shortcomings of experience. Nevertheless, it's a good idea to review past mistakes before committing new ones. So let's take a quick look at the last 25 years.

• My first mistake, of course, was in buying control of Berkshire. Though I knew its business-textile manufacturing-to be unpromising, I was enticed to buy because the price looked cheap. Stock purchases of that kind had proved reasonably rewarding in

22 [1989.]

my early years, though by the time Berkshire came along in 1965 I was becoming aware that the strategy was not ideaL

If you buy a stock at a sufficiently low price, there will usually be some hiccup in the fortunes of the business that gives you a chance to unload at a decent profit, even though the long-term performance of the business may be terrible. I call this the "cigar butt" approach to investing. A cigar butt found on the street that has only one puff left in it may not offer much of a smoke, but the "bargain purchase" will make that puff all profit.

Unless you are a liquidator, that kind of approach to buying businesses is foolish. First, the original "bargain" price probably will not turn out to be such a steal after all. In a difficult business, no sooner is one problem solved than another surfaces-never is there just one cockroach in the kitchen. Second, any initial advantage you secure will be quickly eroded by the low return that the business earns. For example, if you buy a business for $8 million that can be sold or liquidated for $10 million and promptly take either course, you can realize a high return. But the investment will disappoint if the business is sold for $10 million in ten years and in the interim has annually earned and distributed only a few percent on cost. Time is the friend of the wonderful business, the enemy of the mediocre.

You might think this principle is obvious, but I had to learn it the hard way-in fact, I had to learn it several times over. Shortly after purchasing Berkshire, I acquired a Baltimore department store, Hochschild, Kohn, buying through a company called Diversified Retailing that later merged with Berkshire. I bought at a substantial discount from book value, the people were first-class, and the deal included some extras-unrecorded real estate values and a significant LIFO inventory cushion. How could I miss? So-o-o-three years later I was lucky to sell the business for about what I had paid. After ending our corporate marriage to Hochschild, Kohn, I had memories like those of the husband in the country song, "My Wife Ran Away With My Best Friend and I Still Miss Him a Lot."

I could give you other personal examples of "bargain-purchase" folly but I'm sure you get the picture: It's far better to buy a wonderful company at a fair price than a fair company at a wonderful price. Charlie understood this early; I was a slow learner. But now, when buying companies or common stocks, we look for first-class businesses accompanied by first-class managements.

• That leads right into a related lesson: Good jockeys will do well on good horses, but not on broken-down nags. Both Berkshire's textile business and Hochschild, Kohn had able and honest people running them. The same managers employed in a business with good economic characteristics would have achieved fine records. But they were never going to make any progress while running in quicksand.[23]

I've said many times that when a management with a reputation for brilliance tackles a business with a reputation for bad economics, it is the reputation of the business that remains intact. I just wish I hadn't been so energetic in creating examples. My behavior has matched that admitted by Mae West: "I was Snow White, but I drifted."

• A further related lesson: Easy does it. After 25 years of buying and supervising a great variety of businesses, Charlie and I have *not* learned how to solve difficult business problems. What we have learned is to avoid them. To the extent we have been successful, it is because we concentrated on identifying one-foot hurdles that we could step over rather than because we acquired any ability to clear seven-footers.

The finding may seem unfair, but in both business and investments it is usually far more profitable to simply stick with the easy and obvious than it is to resolve the difficult. On occasion, tough problems *must* be tackled as was the case when we started our Sunday paper in Buffalo. In other instances, a great investment opportunity occurs when a marvelous business encounters a one-time huge, but solvable, problem as was the case many years back at both American Express and GEIeO. Overall, however, we've done better by avoiding dragons than by slaying them.

• My most surprising discovery: the overwhelming importance in business of an unseen force that we might call "the institutional imperative." In business school, I was given no hint of the imperative's existence and I did not intuitively understand it when I entered the business world. I thought then that decent, intelligent, and experienced managers would automatically make rational business decisions. But I learned over time that isn't so. Instead, rationality frequently wilts when the institutional imperative comes into play.

For example: (1) As if governed by Newton's First Law of Motion, an institution will resist any change in its current direction; (2)

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23 [*See* the essay The Anxieties of Plant Closings in Part I.e.]

Just as work expands to fill available time, corporate projects or acquisitions will materialize to soak up available funds; (3) Any business craving of the leader, however foolish, will be quickly supported by detailed rate-of-return and strategic studies prepared by his troops; and (4) The behavior of peer companies, whether they are expanding, acquiring, setting executive compensation or whatever, will be mindlessly imitated.

Institutional dynamics, not venality or stupidity, set businesses on these courses, which are too often misguided. After making some expensive mistakes because I ignored the power of the imperative, I have tried to organize and manage Berkshire in ways that minimize its influence. Furthermore, Charlie and I have attempted to concentrate our investments in companies that appear alert to the problem.

• After some other mistakes, I learned to go into business only with people whom I like, trust, and admire. As I noted before, this policy of itself will not ensure success: A second-class textile or department-store company won't prosper simply because its managers are men that you would be pleased to see your daughter marry. However, an owner-or investor-can accomplish wonders if he manages to associate himself with such people in businesses that possess decent economic characteristics. Conversely, we do not wish to join with managers who lack admirable qualities, no matter how attractive the prospects of their business. We've never succeeded in making a good deal with a bad person.

• Some of my worst mistakes were not publicly visible. These were stock and business purchases whose virtues I understood and yet didn't make. It's no sin to miss a great opportunity outside one's area of competence. But I have passed on a couple of really big purchases that were served up to me on a platter and that I was fully capable of understanding. For Berkshire's shareholders, myself included, the cost of this thumb-sucking has been huge.

• Our consistently-conservative financial policies may appear to have been a mistake, but in my view were not. In retrospect, it is clear that significantly higher, though still conventional, leverage ratios at Berkshire would have produced considerably better returns on equity than the 23.8% we have actually averaged. Even in 1965, perhaps we could have judged there to be a 99% probability that higher leverage would lead to nothing but good. Correspondingly, we might have seen only a 1% chance that some shock factor, external or internal, would cause a conventional debt ratio to

produce a result falling somewhere between temporary anguish and default.

We wouldn't have liked those 99:1 odds-and never will. A small chance of distress or disgrace cannot, in our view, be offset by a large chance of extra returns. If your actions are sensible, you are certain to get good results; in most such cases, leverage just moves things along faster. Charlie and I have never been in a big hurry: We enjoy the process far more than the proceeds-though we have learned to live with those also.

G. *Junk Bonds*[24]

Lethargy bordering on sloth remains the cornerstone of our investment style: This year we neither bought nor sold a share of five of our six major holdings. The exception was Wells Fargo, a superbly-managed, high-return banking operation in which we increased our ownership to just under 10%, the most we can own without the approval of the Federal Reserve Board. About one-sixth of our position was bought in 1989, the rest in 1990.

The banking business is no favorite of ours. When assets are twenty times equity-a common ratio in this industry-mistakes that involve only a small portion of assets can destroy a major portion of equity. And mistakes have been the rule rather than the exception at many major banks. Most have resulted from a managerial failing that we described last year when discussing the "institutional imperative:" the tendency of executives to mindlessly imitate the behavior of their peers, no matter how foolish it may be to do so. In their lending, many bankers played follow-the-Ieader with lemming-like zeal; now they are experiencing a lemming-like fate.

Because leverage of 20:1 magnifies the effects of managerial strengths and weaknesses, we have no interest in purchasing shares of a poorly-managed bank at a "cheap" price. Instead, our only interest is in buying into well-managed banks at fair prices.

With Wells Fargo, we think we have obtained the best managers in the business, Carl Reichardt and Paul Hazen. In many ways the combination of Carl and Paul reminds me of another-Tom Murphy and Dan Burke at Capital Cities/ABC. First, each pair is stronger than the sum of its parts because each partner understands, trusts and admires the other. Second, both managerial

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24 [Divided by hash lines: 1990; 1990 Wesco Financial Corporation Letter to Shareholders, by Charles T. Munger. Reprinted with permission.]

teams payable people well, but abhor having a bigger head count than is needed. Third, both attack costs as vigorously when profits are at record levels as when they are under pressure. Finally, both stick with what they understand and let their abilities, not their egos, determine what they attempt. (Thomas J. Watson Sr. of IBM followed the same rule: "I'm no genius," he said. "I'm smart in spots-but I stay around those spots.")

Our purchases of Wells Fargo in 1990 were helped by a chaotic market in bank stocks. The disarray was appropriate: Month by month the foolish loan decisions of once well-regarded banks were put on public display. As one huge loss after another was unveiled-often on the heels of managerial assurances that all was well-investors understandably concluded that no bank's numbers were to be trusted. Aided by their flight from bank stocks, we purchased our 10% interest in Wells Fargo for $290 million, less than five times after-tax earnings, and less than three times pre-tax earnings.

Wells Fargo is big-it has $56 billion in assets-and has been earning more than 20% on equity and 1.25% on assets. Our purchase of one-tenth of the bank may be thought of as roughly equivalent to our buying 100% of a $5 billion bank with identical financial characteristics. But were we to make such a purchase, we would have to pay about twice the $290 million we paid for Wells Fargo. Moreover, that $5 billion bank, commanding a premium price, would present us with another problem: We would not be able to find a Carl Reichardt to run it. In recent years, Wells Fargo executives have been more avidly recruited than any others in the banking business; no one however, has been able to hire the dean.

Of course, ownership of a bank-or about any other business-is far from riskless. California banks face the specific risk of a major earthquake, which might wreak enough havoc on borrowers to in turn destroy the banks lending to them. A second risk is systemic-the possibility of a business contraction or financial panic so severe that it would endanger almost every highly-leveraged institution, no matter how intelligently run. Finally, the market's major fear of the moment is that West Coast real estate values will tumble because of overbuilding and deliver huge losses to banks that have financed the expansion. Because it is a leading real estate lender, Wells Fargo is thought to be particularly vulnerable.

None of these eventualities can be ruled out. The probability of the first two occurring, however, is low and even a meaningful

drop in real estate values is unlikely to cause major problems for well-managed institutions. Consider some mathematics: Wells Fargo currently earns well over $1 billion pre-tax annually after expensing more than $300 million for loan losses. If 10% of all $48 billion of the bank's loans-not just its real estate loans-were hit by problems in 1991, and these produced losses (including foregone interest) averaging 30% of principal, the company would roughly break even.

A year like that-which we consider only a low-level possibility, not a likelihood-would not distress us. In fact, at Berkshire we would love to acquire businesses or invest in capital projects that produced no return for a year, but that could then be expected to earn 20% on growing equity. Nevertheless, fears of a California real estate disaster similar to that experienced in New England caused the price of Wells Fargo stock to fall almost 50% within a few months during 1990. Even though we had bought some shares at the prices prevailing before the fall, we welcomed the decline because it allowed us to pick up many more shares at the new, panic prices.

Investors who expect to be ongoing buyers of investments throughout their lifetimes should adopt a similar attitude toward market fluctuations; instead many illogically become euphoric when stock prices rise and unhappy when they fall. They show no such confusion in their reaction to food prices: Knowing they are forever going to be buyers of food, they welcome falling prices and deplore price increases. (It's the seller of food who doesn't like declining prices.) Similarly, at the Buffalo News we would cheer lower prices for newsprint-even though it would mean marking down the value of the large inventory of newsprint we always keep on hand-because we know we are going to be perpetually buying the product.

Identical reasoning guides our thinking about Berkshire's investments. We will be buying businesses-or small parts of businesses, called stocks-year in, year out as long as I live (and longer, if Berkshire's directors attend the seances I have scheduled). Given these intentions, declining prices for businesses benefit us, and rising prices hurt us.

The most common cause of low prices is pessimism-sometimes pervasive, sometimes specific to a company or industry. We *want* to do business in such an environment, not because we like pessimism but because we like the prices it produces. It's optimism that is the enemy of the rational buyer.

None of this means, however, that a business or stock is an intelligent purchase simply because it is unpopular; a contrarian approach is just as foolish as a follow-the-crowd strategy. What's required is thinking rather than polling. Unfortunately, Bertrand Russell's observation about life in general applies with unusual force in the financial world: "Most men would rather die than think. Many do."

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Our other major portfolio change last year was large additions to our holdings of RJR Nabisco bonds, securities that we first bought in late 1989. At yearend 1990 we had $440 million invested in these securities, an amount that approximated market value. (As I write this, however, their market value has risen by more than $150 million.)

Just as buying into the banking business is unusual for us, so is the purchase of below-investment-grade bonds. But opportunities that interest us and that are also large enough to have a worthwhile impact on Berkshire's results are rare. Therefore, we will look at any category of investment, so long as we understand the business we're buying into and believe that price and value may differ significantly. (Woody Allen, in another context, pointed out the advantage of open-mindedness: "I can't understand why more people aren't bi-sexual because it doubles your chances for a date on Saturday night.")

In the past we have bought a few below-investment-grade bonds with success, though these were all old-fashioned "fallen angels"-bonds that were initially of investment grade but that were downgraded when the issuers fell on bad times. . . .

A kind of bastardized fallen angel burst onto the investment scene in the 1980s-"junk bonds" that were far below investment-grade when issued. As the decade progressed, new offerings of manufactured junk became ever junkier and ultimately the predictable outcome occurred: Junk bonds lived up to their name. In 1990-even before the recession dealt its blows-the financial sky became dark with the bodies of failing corporations.

The disciples of debt assured us that this collapse wouldn't happen: Huge debt, we were told, would cause operating managers to focus their efforts as never before, much as a dagger mounted on the steering wheel of a car could be expected to make its driver proceed with intensified care. We'll acknowledge that such an attention-getter would produce a very alert driver. But another cer-

tain consequence would be a deadly-and unnecessary-accident if the car hit even the tiniest pothole or sliver of ice. The roads of business are riddled with potholes; a plan that requires dodging them all is a plan for disaster.

In the final chapter of *The Intelligent Investor* Ben Graham forcefully rejected the dagger thesis: "Confronted with a challenge to distill the secret of sound investment into three words, we venture the motto, Margin of Safety." Forty-two years after reading that, I still think those are the right three words. The failure of investors to heed this simple message caused them staggering losses as the 1990s began.

At the height of the debt mania, capital structures were concocted that guaranteed failure: In some cases, so much debt was issued that even highly favorable business results could not produce the funds to service it. One particularly egregious "kill-'em-at-birth" case a few years back involved the purchase of a mature television station in Tampa, bought with so much debt that the interest on it exceeded the station's *gross revenues.* Even if you assume that all labor, programs and services were donated rather than purchased, this capital structure required revenues to explode-or else the station was doomed to go broke. (Many of the bonds that financed the purchase were sold to now-failed savings and loan associations; as a taxpayer, you are picking up the tab for this folly.)

All of this seems impossible now. When these misdeeds were done, however, dagger-selling investment bankers pointed to the "scholarly" research of academics, which reported that over the years the higher interest rates received from low-grade bonds had more than compensated for their higher rate of default. Thus, said the friendly salesmen, a diversified portfolio of junk bonds would produce greater net returns than would a portfolio of high~grade bonds. (Beware of past-performance "proofs" in finance: If history books were the key to riches, the Forbes 400 would consist of librarians.)

There was a flaw in the salesmen's logic-one that a first-year student in statistics is taught to recognize. An assumption was being made that the universe of newly-minted junk bonds was identical to the universe of low-grade fallen angels and that, therefore, the default experience of the latter group was meaningful in predicting the default experience of the new issues. (That was an error similar to checking the historical death rate from Kool-Aid before drinking the version served at Jonestown.)

The universes were of course dissimilar in several vital respects. For openers, the manager of a fallen angel almost invariably yearned to regain investment-grade status and worked toward that goal. The junk-bond operator was usually an entirely different breed. Behaving much as a heroin user might, he devoted his energies not to finding a cure for his debt-ridden condition, but rather to finding another fix. Additionally, the fiduciary sensitivities of the executives managing the typical fallen angel were often, though not always, more finely developed than were those of the junk-bond-issuing financiopath.

Wall Street cared little for such distinctions. As usual, the Street's enthusiasm for an idea was proportional not to its merit, but rather to the revenue it would produce. Mountains of junk bonds were sold by those who didn't care to those who didn't think-and there was no shortage of either.

Junk bonds remain a mine field, even at prices that today are often a small fraction of issue price. As we said last year, we have never bought a new issue of a junk bond. (The only time to buy these is on a day with no "y" in it.) We are, however, willing to look at the field, now that it is in disarray.

In the case of RJR Nabisco, we feel the Company's credit is considerably better than was generally perceived for a while and that the yield we receive, as well as the potential for capital gain, more than compensates for the risk we incur (though that is far from nil). RJR has made asset sales at favorable prices, has added major amounts of equity, and in general is being run well.

However, as we survey the field, most low-grade bonds still look unattractive. The handiwork of the Wall Street of the 1980s is even worse than we had thought: Many important businesses have been mortally wounded. We will, though, keep looking for opportunities as the junk market continues to unravel.

It is interesting to compare Wesco's approach (deliberate non-diversification of investments in an attempt to be more skillful per transaction) with an approach promoted for years by Michael Milken to help sell junk bonds. The Milken approach, supported by theories of many finance professors, argued that (1) market prices were efficient in a world where investors get paid extra for enduring volatility (wide swings in outcomes); (2) therefore, the prices at which new issues of junk bonds came to market were fair in a probabilistic sense (meaning that the high promised interest rates covered increased statistical expectancy of loss) and also pro-

vided some premium return to cover volatility exposure; and (3) therefore, if a savings and loan association (or other institution) arranged diversification, say, by buying, without much examination, a large part of each new Milken issue of junk bonds, the association would work itself into the sure to-get-better-than-average-results position of a gambling house proprietor with a "house" edge. This type of theorizing has now wreaked havoc at institutions, governed by true-believers, which backed their conclusions by buying Milken's "bonds." Contrary to the theorizing, widely diversified purchases of such "bonds" have in most cases produced dismal results. We can all understand why Milken behaved as he did and believed what he had to believe in order to maintain an endurable self-image. But how can we explain why anyone else believed that Milken was paid 5% commissions to put "bond" buyers in the position of the house in Las Vegas? We suggest this cause: many of the foolish buyers, and their advisers, were trained by finance professors who pushed beloved models (efficient market theory and modern portfolio theory) way too far, while they ignored other models that would have warned of danger. This is a common type of "expert" error ....

H. *Zero-Coupon Bonds*[25]

Berkshire issued $902.6 million principal amount of Zero-Coupon Convertible Subordinated Debentures, which are now listed on the New York Stock Exchange. Salomon Brothers handled the underwriting in superb fashion, providing us helpful advice and a flawless execution.

Most bonds, of course, require regular payments of interest, usually semi-annually. A zero-coupon bond, conversely, requires no current interest payments; instead, the investor receives his yield by purchasing the security at a significant discount from maturity value. The effective interest rate is determined by the original issue price, the maturity value, and the amount of time between issuance and maturity.

In our case, the bonds were issued at 44.314% of maturity value and are due in 15 years. For investors purchasing the bonds, that is the mathematical equivalent of a 5.5% current payment compounded semi-annually. Because we received only 44.31 cents on the dollar, our proceeds from this offering were $400 million (less about $9.5 million of offering expenses).

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25 [1989.]

The bonds were issued in denominations of $10,000 and each bond is convertible into .4515 shares of Berkshire Hathaway. Because a $10,000 bond cost $4,431, this means that the conversion price was $9,815 per Berkshire share, a 15% premium to the market price then existing. Berkshire can call the bonds at any time after September 28, 1992 at their accreted value (the original issue price plus 5.5% compounded semi-annually) and on two specified days, September 28 of 1994 and 1999, the bondholders can require Berkshire to buy the securities at their accreted value.

For tax purposes, Berkshire is entitled to deduct the 5.5% interest accrual each year, even though we make no payments to the bondholders. Thus the net effect to us, resulting from the reduced taxes, is positive cash flow. That is a very significant benefit. Some unknowable variables prevent us from calculating our exact effective rate of interest, but under all circumstances it will be well below 5.5%. There is meanwhile a symmetry to the tax law: Any taxable holder of the bonds must pay tax each year on the 5.5% interest, even though he receives no cash.

Neither our bonds nor those of certain other companies that issued similar bonds last year (notably Loews and Motorola) resemble the great bulk of zero-coupon bonds that have been issued in recent years. Of these, Charlie and I have been, and will continue to be, outspoken critics. As I will later explain, such bonds have often been used in the most deceptive of ways and with deadly consequences to investors. But before we tackle that subject, let's travel back to Eden, to a time when the apple had not yet been bitten.

If you're my age you bought your first zero-coupon bonds during World War II, by purchasing the famous Series E U.S. Savings Bond, the most widely-sold bond issue in history. (After the war, these bonds were held by one out of two U.S. households.) Nobody, of course, called the Series E a zero-coupon bond, a term in fact that I doubt had been invented. But that's precisely what the Series E was.

These bonds came in denominations as small as $18.75. That amount purchased a $25 obligation of the United States government due in 10 years, terms that gave the buyer a compounded annual return of 2.9%. At the time, this was an attractive offer: the 2.9% rate was higher than that generally available on Government bonds and the holder faced no market-fluctuation risk, since he could at any time cash in his bonds with only a minor reduction in interest.

A second form of zero-coupon *V.S.* Treasury issue, also benign and useful, surfaced in the last decade. One problem with a normal bond is that even though it pays a given interest rate-say lO%-the holder cannot be assured that a compounded 10% return will be realized. For that rate to materialize, each semi-annual coupon must be reinvested at 10% as it is received. If current interest rates are, say, only 6% or 7% when these coupons come due, the holder will be unable to compound his money over the life of the bond at the advertised rate. For pension funds or other investors with long-term liabilities, "reinvestment risk" of this type can be a serious problem. Savings Bonds might have solved it, except that they are issued only to individuals and are unavailable in large denominations. What big buyers needed was huge quantities of "Savings Bond Equivalents."

Enter some ingenious and, in this case, highly useful investment bankers (led, I'm happy to say, by Salomon Brothers). They created the instrument desired by "stripping" the semi-annual coupons from standard Government issues. Each coupon, once detached, takes on the essential character of a Savings Bond since it represents a single sum due sometime in the future. For example, if you strip the 40 semi-annual coupons from a V.S. Government Bond due in the year 2010, you will have 40 zero-coupon bonds, with maturities from six months to 20 years, each of which can then be bundled with other coupons of like maturity and marketed. If current interest rates are, say, 10% for all maturities, the six-month issue will sell for 95.24% of maturity value and the 20-year issue will sell for 14.20%. The purchaser of any given maturity is thus guaranteed a compounded rate of 10% for his entire holding period. Stripping of government bonds has occurred on a large scale in recent years, as long-term investors, ranging from pension funds to individual IRA accounts, recognized these high-grade, zero-coupon issues to be well suited to their needs.

But as happens in Wall Street all too often, what the wise do in the beginning, fools do in the end. In the last few years zero-coupon bonds (and their functional equivalent, pay-in-kind bonds, which distribute additional PIK bonds semi-annually as interest instead of paying cash) have been issued in enormous quantities by ever-junkier credits. To these issuers, zero (or PIK) bonds offer one overwhelming advantage: It is impossible to default on a promise to pay nothing. Indeed, if LDC governments had issued no debt in the 1970's other than long-term zero-coupon obligations, they would now have a spotless record as debtors.

This principle at work-that you need not default for a long time if you solemnly promise to pay nothing for a long time-has not been lost on promoters and investment bankers seeking to finance ever-shakier deals. But its acceptance by lenders took a while: When the leverage buy-out craze began some years back, purchasers could borrow only on a reasonably sound basis, in which conservatively-estimated free cash flow-that is, operating earnings plus depreciation and amortization less normalized capital expenditures-was adequate to cover both interest and modest reductions in debt.

Later, as the adrenalin of deal-makers surged, businesses began to be purchased at prices so high that all free cash flow necessarily had to be allocated to the payment of interest. That left nothing for the paydown of debt. In effect, a Scarlett O'Hara "I'll think about it tomorrow" position in respect to principal payments was taken by borrowers and accepted by a new breed of lender, the buyer of original-issue junk bonds. Debt now became something to be refinanced rather than repaid. The change brings to mind a New Yorker cartoon in which the grateful borrower rises to shake the hand of the bank's lending officer and gushes: "I don't know how I'll ever repay you."

Soon borrowers found even the new, lax standards intolerably binding. To induce lenders to finance even sillier transactions, they introduced an abomination, EBDIT-Earnings Before Depreciation, Interest and Taxes-as the test of a company's ability to pay interest. Using this sawed-off yardstick, the borrower ignored depreciation as an expense on the theory that it did not require a current cash outlay.

Such an attitude is clearly delusional. At 95% of American businesses, capital expenditures that over time roughly approximate depreciation are a necessity and are every bit as real an expense as labor or utility costs. Even a high school dropout knows that to finance a car he must have income that covers not only interest and operating expenses, but also realistically-calculated depreciation. He would be laughed out of the bank if he started talking about EBDIT.

Capital outlays at a business can be skipped, of course, in any given month, just as a human can skip a day or even a week of eating. But if the skipping becomes routine and is not made up, the body weakens and eventually dies. Furthermore, a start and-stop feeding policy will over time produce a less healthy organism, human or corporate, than that produced by a steady diet. As busi-

nessmen, Charlie and I relish having competitors who are unable to fund capital expenditures.

You might think that waving away a major expense such as depreciation in an attempt to make a terrible deal look like a good one hits the limits of Wall Street's ingenuity. If so, you haven't been paying attention during the past few years. Promoters needed to find a way to justify even pricier acquisitions. Otherwise, they risked-heaven forbid-losing deals to other promoters with more "imagination."

So, stepping through the Looking Glass, promoters and their investment bankers proclaimed that EBDIT should now be measured against cash interest only, which meant that interest accruing on zero-coupon or PIK bonds could be ignored when the financial feasibility of a transaction was being assessed. This approach not only relegated depreciation expense to the let's-ignore-it corner, but gave similar treatment to what was usually a significant portion of interest expense. To their shame, many professional investment managers went along with this nonsense, though they usually were careful to do so only with clients' money, not their own. (Calling these managers "professionals" is actually too kind; they should be designated "promotees.")

Under this new standard, a business earning, say, $100 million pre-tax and having debt on which $90 million of interest must be paid currently, might use a zero-coupon of PIK issue to incur another $60 million of annual interest that would accrue and compound but not come due for some years. The rate on these issues would typically be very high, which means that the situation in year 2 might be $90 million cash interest plus $69 million accrued interest, and so on as the compounding proceeds. Such high-rate reborrowing schemes, which a few years ago were appropriately confined to the waterfront, soon became models of finance at virtually all major investment banking houses.

When they make these offerings, investment bankers display their humorous side: They dispense income and balance sheet projections extending five or more years into the future for companies they barely had heard of a few months earlier. If you are shown such schedules, I suggest that you join the fun: Ask the investment banker for the one-year budgets that his own firm prepared as the last few years began and then compare these with what actually happened.

Some time ago Ken Galbraith, in his witty and insightful *The Great Crash,* coined a new economic term: "the bezzle," defined as

the current amount of undiscovered embezzlement. This financial creature has a magical quality: The embezzlers are richer by the amount of the bezzle, while the embezzlers do not yet feel poorer.

Professor Galbraith astutely pointed out that this sum should be added to the National Wealth so that we might know the Psychic National Wealth. Logically, a society that wanted to feel enormously prosperous would both encourage its citizens to embezzle and try not to detect the crime. By this means, "wealth" would balloon though not an erg of productive work had been done.

The satirical nonsense of the bezzle is dwarfed by the real-world nonsense of the zero-coupon bond. With zeros, one party to a contract can experience "income" without his opposite experiencing the pain of expenditure. In our illustration, a company capable of earning only $100 million dollars annually-and therefore capable of paying only that much in interest-magically creates "earnings" for bondholders of $150 million. As long as major investors willingly don their Peter Pan wings and repeatedly say "I believe," there is no limit to how much "income" can be created by the zero-coupon bond.

Wall Street welcomed this invention with the enthusiasm less-enlightened folk might reserve for the wheel or the plow. Here, finally, was an instrument that would let the Street make deals at prices no longer limited by actual earning power. The result, obviously, would be more transactions: Silly prices will always attract sellers. And, as Jesse Unruh might have put it, transactions are the mother's milk of finance.

The zero-coupon or PIK bond possesses an additional attraction for the promoter and investment banker, which is that the time elapsing between folly and failure can be stretched out. This is no small benefit. If the period before all costs must be faced is long, promoters can create a string of foolish deals-and take in lots of fees-before any chickens come home to roost from their earlier ventures.

But in the end, alchemy, whether it is metallurgical or financial, fails. A base business can not be transformed into a golden business by tricks of accounting or capital structure. The man claiming to be a financial alchemist may become rich. But gullible investors rather than business achievements will usually be the source of his wealth.

Whatever their weaknesses, we should add, many zero-coupon and PIK bonds will not default. We have in fact owned some and

may buy more if their market becomes sufficiently distressed. (We've not, however, even considered buying a new issue from a weak credit.) No financial instrument is evil per se; it's just that some variations have far more potential for mischief than others.

The blue ribbon for mischief-making should go to the zero-coupon issuer unable to make its interest payments on a current basis. Our advice: Whenever an investment banker starts talking about EBDIT-or whenever someone creates a capital structure that does not allow all interest, both payable and accrued, to be comfortably met out of current cash flow net of ample capital expenditures-zip up your wallet. Turn the tables by suggesting that the promoter and his high-priced entourage accept zero-coupon fees, deferring their take until the zero-coupon bonds have been paid in full. See then how much enthusiasm for the deal endures.

Our comments about investment bankers may seem harsh. But Charlie and I-in our hopelessly old-fashioned way-believe that they should perform a gatekeeping role, guarding investors against the promoter's propensity to indulge in excess. Promoters, after all, have throughout time exercised the same judgment and restraint in accepting money that alcoholics have exercised in accepting liquor. At a minimum, therefore, the banker's conduct should rise to that of a responsible bartender who, when necessary, refuses the profit from the next drink to avoid sending a drunk out on the highway. In recent years, unfortunately, many leading investment firms have found bartender morality to be an intolerably restrictive standard. Lately, those who have traveled the high road in Wall Street have not encountered heavy traffic.

One distressing footnote: The cost of the zero-coupon folly will not be borne solely by the direct participants. Certain savings and loan associations were heavy buyers of such bonds, using cash that came from FSLIC-insured deposits. Straining to show splendid earnings, these buyers recorded-but did not receive-ultra-high interest income on these issues. Many of these associations are now in major trouble. Had their loans to shaky credits worked, the owners of the associations would have pocketed the profits. In the many cases in which the loans will fail, the taxpayer will pick up the bill. To paraphrase Jackie Mason, at these associations it was the managers who should have been wearing the ski masks.

I. Preferred Stock[26]

We only want to link up with people whom we like, admire, and trust. John Gutfreund at Salomon, Colman Mockler, Jr. at Gillette, Ed Colodny at USAir, and Andy Sigler at Champion meet this test in spades.

They in turn have demonstrated some confidence in us, insisting in each case that our preferreds have unrestricted voting rights on a fully-converted basis, an arrangement that is far from standard in corporate finance. In effect they are trusting us to be intelligent owners, thinking about tomorrow *instead* of today, just as we are trusting them to be intelligent managers, thinking about tomorrow *as well* as today.

The preferred-stock structures we have negotiated will provide a mediocre return for us if industry economics hinder the performance of our investees, but will produce reasonably attractive results for us if they can earn a return comparable to that of American industry in general. We believe that Gillette, under Colman's management, will far exceed that return and believe that John, Ed, and Andy will reach it unless industry conditions are harsh.

Under almost any conditions, we expect these preferreds to return us our money plus dividends. If that is all we get, though, the result will be disappointing, because we will have given up flexibility and consequently will have missed some significant opportunities that are bound to present themselves during the decade. Under that scenario, we will have obtained only a preferred-stock yield during a period when the typical preferred stock will have held no appeal for us whatsoever. The only way Berkshire can achieve satisfactory results from its four preferred issues is to have the common stocks of the investee companies do well.

Good management and at least tolerable industry conditions will be needed if that is to happen. But we believe Berkshire's investment will also help and that the other shareholders of each investee will profit over the years ahead from our preferred-stock purchase. The help will come from the fact that each company now has a major, stable, and interested shareholder whose Chairman and Vice Chairman have, through Berkshire's investments, indirectly committed a very large amount of their own money to these undertakings. In dealing with our investees, Charlie and I will be supportive, analytical, and objective. We recognize that we are working with experienced CEOs who are very much in command

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26 [Divided by hash lines: 1989; 1994; 1996; 1990; 1995.]

of their own business but who nevertheless, at certain moments, appreciate the chance to test their thinking on someone without ties to their industry or to decisions of the past.

As a group, these convertible preferreds will not produce the returns we can achieve when we find a business with wonderful economic prospects that is unappreciated by the market. Nor will the returns be as attractive as those produced when we make our favorite form of capital deployment, the acquisition of 80% or more of a fine business with a fine management. But both opportunities are rare, particularly in a size befitting our present and anticipated resources.

In summation, Charlie and I feel that our preferred stock investments should produce returns moderately above those achieved by most fixed-income portfolios and that we can play a minor but enjoyable and constructive role in the investee companies.

Mistakes occur at the time of decision. We can only make our mistake-du-jour award, however, when the foolishness of a decision becomes obvious. By this measure, 1994 was a vintage year with keen competition for the gold medal. Here, I would like to tell you that the mistakes I will describe originated with Charlie. But whenever I try to explain things that way, my nose begins to grow.

And the nominees are ...

Late in 1993 I sold 10 million shares of Cap Cities at $63; at year-end 1994, the price was $85¼. (The difference is $222.5 million for those of you who wish to avoid the pain of calculating the damage yourself.) When we purchased the stock at $17.25 in 1986, I told you that I had previously sold our Cap Cities holdings at $4.30 per share during 1978-80, and added that I was at a loss to explain my earlier behavior. Now I've become a repeat offender. Maybe it's time to get a guardian appointed.

Egregious as it is, the Cap Cities decision earns only a silver medal. Top honors go to a mistake I made five years ago that fully ripened in 1994: Our $358 million purchase of USAir preferred stock, on which the dividend was suspended in September. . . . [T]his deal [w]as an "unforced error," meaning that I was neither pushed into the investment nor misled by anyone when making it. Rather, this was a case of sloppy analysis, a lapse that may have been caused by the fact that we were buying a senior security or by hubris. Whatever the reason, the mistake was large.

Before this purchase, I simply failed to focus on the problems that would inevitably beset a carrier whose costs were both high and extremely difficult to lower. In earlier years, these life-threatening costs posed few problems. Airlines were then protected from competition by regulation, and carriers could absorb high costs because they could pass them along by way of fares that were also high.

When deregulation came along, it did not immediately change the picture: The capacity of low-cost carriers was so small that the high-cost lines could, in large part, maintain their existing fare structures. During this period, with the longer-term problems largely invisible but slowly metastasizing, the costs that were non-sustainable became further embedded.

As the seat capacity of the low-cost operators expanded, their fares began to force the old-line, high-cost airlines to cut their own. The day of reckoning for these airlines could be delayed by infusions of capital (such as ours into USAir), but eventually a fundamental rule of economics prevailed: In an unregulated commodity business, a company must lower its costs to competitive levels or face extinction. This principle should have been obvious to your Chairman, but I missed it.

Seth Schofield, [then] CEO of USAir, has worked diligently to correct the company's historical cost problems but, to date, has not managed to do so. In part, this is because he has had to deal with a moving target, the result of certain major carriers having obtained labor concessions and other carriers having benefitted from "fresh-start" costs that came out of bankruptcy proceedings. (As Herb Kelleher, CEO of Southwest Airlines, has said: "Bankruptcy court for airlines has become a health spa.") Additionally, it should be no surprise to anyone that those airline employees who contractually receive above-market salaries will resist any reduction in these as long as their checks continue to clear.

Despite this difficult situation, USAir may yet achieve the cost reductions it needs to maintain its viability long-term. But it is far from sure that will happen.

Accordingly, we wrote our USAir investment down to $89.5 million, or 25¢ on the dollar, at yearend 1994. This valuation reflects both a possibility that our preferred will have its value fully or largely restored and an opposite possibility that the stock will eventually become worthless. Whatever the outcome, we will heed a prime rule of investing: You don't have to make it back the way that you lost it.

The accounting effects of our USAir writedown are complicated. On our balance sheet, we carryall stocks at estimated market value. Therefore, at the end of last year's third quarter, we were carrying our USAir preferred at $89.5 million, or 25% of cost. In other words, our net worth was at that time reflecting a value for USAir that was far below our $358 million cost.

But in the fourth quarter, we concluded that the decline in value was, in accounting terms, "other than temporary," and that judgment required us to send the writedown of $268.5 million through our income statement. The amount had no other fourth-quarter effect. That is, it did not reduce our net worth, because the diminution of value had already been reflected there.

Charlie and I will not stand for reelection to USAir's board at the upcoming annual meeting. Should Seth wish to consult with us, however, we will be pleased to be of any help that we can.

When Richard Branson, the wealthy owner of Virgin Atlantic Airways, was asked how to become a millionaire, he had a quick answer: "There's really nothing to it. Start as a billionaire and then buy an airline." Unwilling to accept Branson's proposition on faith, your Chairman decided in 1989 to test it by investing $358 million in a 9¼% preferred stock of USAir.

I liked and admired Ed Colodny, the company's then-CEO, and I still do. But my analysis of USAir's business was both superficial and wrong. I was so beguiled by the company's long history of profitable operations, and by the protection that ownership of a senior security seemingly offered me, that I overlooked the crucial point: USAir's revenues would increasingly feel the effects of an unregulated, fiercely competitive market whereas its cost structure was a holdover from the days when regulation protected profits. These costs, if left unchecked, portended disaster, however reassuring the airline's past record might be. ([Again, if] history supplied all of the answers, the Forbes 400 would consist of librarians.)

To rationalize its costs, however, USAir needed major improvements in its labor contracts-and that's something most airlines have found it extraordinarily difficult to get, short of credibly threatening, or actually entering, bankruptcy. USAir was to be no exception. Immediately after we purchased our preferred stock, the imbalance between the company's costs and revenues began to grow explosively. In the 1990-1994 period, USAir lost an aggregate of $2.4 billion, a performance that totally wiped out the book equity of its common stock.

For much of this period, the company paid us our preferred dividends, but in 1994 payment was suspended. A bit later, with the situation looking particularly gloomy, we wrote down our investment by 75%, to $89.5 million. Thereafter, during much of 1995, I offered to sell our shares at 50% of face value. Fortunately, I was unsuccessful.

Mixed in with my many mistakes at USAir was one thing I got right: Making our investment, we wrote into the preferred contract a somewhat unusual provision stipulating that "penalty dividends"-to run five percentage points over the prime rate-would be accrued on any arrearages. This meant that when our 9¼% dividend was omitted for two years, the unpaid amounts compounded at rates ranging between 13¼% and 14%.

Facing this penalty provision, USAir had every incentive to pay arrearages just as promptly as it could. And in the second half of 1996, when USAir turned profitable, it indeed began to pay, giving us $47.9 million. We owe Stephen Wolf, the company's CEO, a huge thank-you for extracting a performance from the airline that permitted this payment. Even so, USAir's performance has recently been helped significantly by an industry tailwind that may be cyclical in nature. The company still has basic cost problems that must be solved.

In any event, the prices of USAir's publicly-traded securities tell us that our preferred stock is now probably worth its par value of $358 million, give or take a little. In addition, we have over the years collected an aggregate of $240.5 million in dividends (including $30 million received in 1997).

Early in 1996, before any accrued dividends had been paid, I tried once more to unload our holdings-this time for about $335 million. You're lucky: I again failed in my attempt to snatch defeat from the jaws of victory.

In another context, a friend once asked me: "If you're so rich, why aren't you smart?" After reviewing my sorry performance with USAir, you may conclude he had a point.

We continue to hold the convertible preferred stocks described in earlier reports: $700 million of Salomon Inc., $600 million of The Gillette Company, $358 million of USAir Group, Inc., and $300 million of Champion International Corp. Our Gillette holdings will be converted into 12 million shares of common stock on April 1. Weighing interest rates, credit quality and prices of the related common stocks, we can assess our holdings in Salomon and

Champion at yearend 1990 as worth about what we paid, Gillette as worth somewhat more, and USAir as worth substantially less.

In making the USAir purchase, your Chairman displayed exquisite timing: I plunged into the business at almost the exact moment that it ran into severe problems. (No one pushed me; in tennis parlance, I committed an "unforced error.") The company's troubles were brought on both by industry conditions and by the post-merger difficulties it encountered in integrating Piedmont, an affliction I should have expected since almost all airline mergers have been followed by operational turmoil.

In short order, Ed Colodny and Seth Schofield resolved the second problem: The airline now gets excellent marks for service. Industry-wide problems have proved to be far more serious. Since our purchase, the economics of the airline industry have deteriorated at an alarming pace, accelerated by the kamikaze pricing tactics of certain carriers. The trouble this pricing has produced for all carriers illustrates an important truth: In a business selling a commodity-type product, it's impossible to be a lot smarter than your dumbest competitor.

However, unless the industry is decimated during the next few years, our USAir investment should work out all right. Ed and Seth decisively addressed the current turbulence by making major changes in operations. Even so, our investment is now less secure than at the time I made it.

Our convertible preferred stocks are relatively simple securities, yet I should warn you that, if the past is any guide, you may from time to time read inaccurate or misleading statements about them. Last year, for example, several members of the press calculated the value of all our preferreds as equal to that of the common stock into which they are convertible. By their logic, that is, our Salomon preferred, convertible into common at $38, would be worth 60% of face value if Salomon common were selling at $22.80. But there is a small problem with this line of reasoning: Using it, one must conclude that all of a value of a convertible preferred resides in the conversion privilege and that value of a non-convertible preferred of Salomon would be zero, no matter what its coupon or terms for redemption.

The point you should keep in mind is that most of the value of our convertible preferreds is derived from their fixed-income characteristics. That means the securities cannot be worth less than the value they would possess as non-convertible preferreds and may be worth more because of their conversion options.

Berkshire made five private purchases of convertible preferred stocks during the 1987-91 period and the time seems right to discuss their status.

In each case we had the option of sticking with these preferreds as fixed-income securities or converting them into common stock. Initially, their value to us came primarily from their fixed-income characteristics. The option we had to convert was a kicker.

Our $300 million private purchase of American Express "Peres" . . . was a modified form of common stock whose fixed-income characteristics contributed only a minor portion of its initial value. Three years after we bought them, the Peres automatically were converted to common stock. In contrast, [our other convertible preferred stocks] were set to become common stocks only if we wished them to-a crucial difference.

When we purchased our convertible securities, I told you that we expected to earn after-tax returns from them that "moderately" exceeded what we could earn from the medium-term fixed-income securities they replaced. We beat this expectation-but only because of the performance of a single issue. I also told you that these securities, as a group, would "not produce the returns we can achieve when we find a business with wonderful economic prospects." Unfortunately, that prediction was fulfilled. Finally, I said that "under almost any conditions, we expect these preferreds to return us our money plus dividends." That's one I would like to have back. Winston Churchill once said that "eating my words has never given me indigestion." My assertion, however, that it was almost impossible for us to lose money on our preferreds has caused me some well-deserved heartburn.

Our best holding has been Gillette, which we told you from the start was a superior business. Ironically, though, this is also the purchase in which I made my biggest mistake-of a kind, however, never recognized on financial statements.

We paid $600 million in 1989 for Gillette preferred shares that were convertible into 48 million (split-adjusted) common shares. Taking an alternative route with the $600 million, I probably could have purchased 60 million shares of common from the company. The market on the common was then about $10.50, and given that this would have been a huge private placement carrying important restrictions, I probably could have bought the stock at a discount of at least 5%. I can't be sure about this, but it's likely that Gillette's

management would have been just as happy to have Berkshire opt for common.

But I was far too clever to do that. Instead, for less than two years, we received some extra dividend income (the difference between the preferred's yield and that of the common), at which point the company-quite properly-called the issue, moving to do that as quickly as was possible. If I had negotiated for common rather than preferred, we would have been better off at yearend 1995 by $625 million, minus the "excess" dividends of about $70 million.

In the case of Champion, the ability of the company to call our preferred at 115% of cost forced a move out of us last August that we would rather have delayed. In this instance, we converted our shares just prior to the pending call and offered them to the company at a modest discount.

Charlie and I have never had a conviction about the paper industry-actually, I can't remember ever owning the common stock of a paper producer in my 54 years of investing-so our choice in August was whether to sell in the market or to the company... , Our Champion capital gain was moderate-about 19% after tax from a six-year investment-but the preferred delivered us a good after-tax dividend yield throughout our holding period. (That said, many press accounts have overstated the after-tax yields earned by property-casualty insurance companies on dividends paid to them. What the press has failed to take into account is a change in the tax law that took effect in 1987 and that significantly reduced the dividends received credit applicable to insurers. For details, see [Part V.H.].)

Our First Empire preferred [was to] be called on March 31, 1996, the earliest date allowable. We are comfortable owning stock in well-run banks, and we will convert and keep our First Empire common shares. Bob Wilmers, CEO of the company, is an outstanding banker, and we love being associated with him.

Our other two preferreds have been disappointing, though the Salomon preferred has modestly outperformed the fixed-income securities for which it was a substitute. However, the amount of management time Charlie and I have devoted to this holding has been vastly greater than its economic significance to Berkshire. Certainly I never dreamed I would take a new job at age 60-Salomon interim chairman, that is-because of an earlier purchase of a fixed-income security.

Soon after our purchase of the Salomon preferred in 1987, I wrote that I had "no special insights regarding the direction or future profitability of investment banking." Even the most charitable commentator would conclude that I have since proved my point.

To date, our option to convert into Salomon common has not proven of value. Furthermore, the Dow Industrials have doubled since I committed to buy the preferred, and the brokerage group has performed equally as well. That means my decision to go with Salomon because I saw value in the conversion option must be graded as very poor. Even so, the preferred has continued under some trying conditions to deliver as a fixed-income security, and the 9% dividend is currently quite attractive.

Unless the preferred is converted, its terms require redemption of 20% of the issue on October 31 of each year, 1995-99, and $140 million of our original $700 million was taken on schedule last year. (Some press reports labeled this a sale, but a senior security that matures is not "sold.") Though we did not elect to convert the preferred that matured last year, we have four more bites at the conversion apple, and I believe it quite likely that we will yet find value in our right to convert.

III. COMMON STOCK

[O]ccasional outbreaks of those two super-contagious diseases, fear and greed, will forever occur in the investment community. The timing of these epidemics will be unpredictable. And the market aberrations produced by them will be equally unpredictable, both as to duration and degree. Therefore, we never try to anticipate the arrival or departure of either disease. Our goal is more modest: we simply attempt to be fearful when others are greedy and to be greedy only when others are fearful.

As this is written, little fear is visible in Wall Street. Instead, euphoria prevails-and why not? What could be more exhilarating than to participate in a bull market in which the rewards to owners of businesses become gloriously uncoupled from the plodding performances of the businesses themselves. Unfortunately, however, stocks can't outperform businesses indefinitely.

Indeed, because of the heavy transaction and investment management costs they bear, stockholders as a whole and over the long term must inevitably underperform the companies they own. If American business, in aggregate, earns about 12% on equity annually, investors must end up earning significantly less. Bull markets can obscure mathematical laws, but they cannot repeal them.[27]

A. *The Bane of Trading: Transaction Costs*[28]

It is likely that in a few months Berkshire shares will be traded on the New York Stock Exchange. Our move there would be made possible by a new listing rule that the Exchange's Board of Governors has passed and asked the SEC to approve. If that approval is forthcoming, we expect to apply for a listing, which we believe will be granted.

Up to now, the Exchange has required newly-listed companies to have a minimum of 2,000 shareholders who each own 100 shares or more. The purpose of this rule is to insure that NYSE-listed companies enjoy the broad investor interest that facilitates an orderly market. The 100-share standard corresponds to the trading unit ("round lot") for all common stocks now listed on the Exchange.

Because [in 1988] Berkshire ha[d] relatively few shares outstanding (1,146,642), it [did] not have the number of 100-shares-or-more holders that the Exchange has required. A ten-share holding

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27 [Introductory paragraph, 1986.]

28 [Letter dated August 5, 1988 sent to Berkshire shareholders and reprinted 1988.]

of Berkshire, however, represents a significant investment commitment. In fact, ten Berkshire shares have a value greater than that of 100 shares of any NYSE-listed stock. The Exchange, therefore, is willing to have Berkshire shares trade in *ten-share* "round lots."

The Exchange's proposed rule simply changes the 2,000 shareholder minimum from one measured by holders of 100 shares or more to one measured by holders of a round lot or more. Berkshire can easily meet this amended test.

Charlie Munger, Berkshire's Vice Chairman, and I are delighted at the prospect of listing, since we believe this move will benefit our shareholders. We have two criteria by which we judge what marketplace would be best for Berkshire stock. First, we hope for the stock to consistently trade at a price rationally related to its intrinsic business value. If it does, the investment result achieved by each shareholder will approximate Berkshire's business result during his period of ownership.

Such an outcome is far from automatic. Many stocks swing between levels of severe undervaluation and overvaluation. When this happens, owners are rewarded or penalized in a manner wildly at variance with how the business has performed during their period of ownership. We want to avoid such capricious results. Our goal is to have our shareholder-partners profit from the achievements of the business rather than from the foolish behavior of their co-owners.

Consistently rational prices are produced by rational owners, both current and prospective. All of our policies and communications are designed to attract the business-oriented long-term owner and to filter out possible buyers whose focus is short-term and market-oriented. To date we have been successful in this attempt, and Berkshire shares have consistently sold in an unusually narrow range around intrinsic business value. We do not believe that a NYSE listing will improve or diminish Berkshire's prospects for consistently selling at an appropriate price; the quality of our shareholders will produce a good result whatever the marketplace.

But we do believe that the listing will reduce transaction costs for Berkshire's shareholders-and that is important. Though we want to attract shareholders who will stay around for a long time, we also want to minimize the costs incurred by shareholders when they enter or exit. In the long run, the aggregate pre-tax rewards to our owners will equal the business gains achieved by the company less the transaction costs imposed by the marketplace-that is, commissions charged by brokers plus the net realized spreads of

market-makers. Overall, we believe these transaction costs will be reduced materially by a NYSE listing.

. . . [T]ransaction costs are very heavy for active stocks, often mounting to 10% or more of the earnings of a public company. In effect, these costs act as a hefty tax on owners, albeit one based on individual decisions to "change chairs" and one that is paid to the financial community rather than to Washington. Our policies and your investment attitude have reduced this "tax" on Berkshire owners to what we believe is the lowest level among large public companies. A NYSE listing should further reduce this cost for Berkshire's owners by narrowing the market-maker's spread.

Under NYSE rules we must have at least two independent directors. Among the Board of Directors you elected in May, only Malcolm Chace, JI. meets their test of independence.

But from this deficiency comes a good result. Charlie and I are pleased to inform you that Walter Scott, Jr., CEO of the Peter Kiewit Sons', Inc. has joined the Berkshire board. PKS is one of the remarkable business stories of our time. The company, which is employee-owned, has a long-term financial record so good that I'm not going to recite it for fear of stirring unrest among our shareholders. Throughout his lifetime, Pete Kiewit ran the company as a strict meritocracy and it was in this tradition that he picked Walter to succeed him upon his death. Walter instinctively thinks like an owner and he will feel at home on the Berkshire board.

One final comment: *You should clearly understand that we are not seeking a NYSE listing for the purpose of achieving a higher valuation on Berkshire shares. Berkshire should sell, and we hope will sell, on the NYSE at prices similar to those it would have commanded in the over-the-counter market, given similar economic circumstances.* The NYSE listing should not induce you to buy or sell; it simply should cut your costs somewhat should you decide to do either.

B. *Attracting the Right Sort of Investor*[29]

Berkshire's shares were listed on the [NYSE] on November 29, 1988.... Let me clarify one point not dealt with in the letter [set forth above]: Though our round lot for trading on the NYSE is ten shares, any number of shares from one on up can be bought or sold.

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29 [1988.]

As the [foregoing] letter explains, our primary goal in listing was to reduce transaction costs, and we believe this goal is being achieved. Generally, the spread between the bid and asked price on the NYSE has been well below the spread that prevailed in the over-the-counter market.

Henderson Brothers, Inc., the specialist in our shares, is the oldest continuing specialist firm on the Exchange; its progenitor, William Thomas Henderson, bought his seat for $500 on September 8, 1861. (Recently, seats were selling for about $625,000.) Among the 54 firms acting as specialists, HBI ranks second in number of stocks assigned, with 83. We were pleased when Berkshire was allocated to HBI, and have been delighted with the firm's performance. Jim Maguire, Chairman of HBI, personally manages the trading in Berkshire, and we could not be in better hands.

In two respects our goals probably differ somewhat from those of most listed companies. First, we do not want to maximize the price at which Berkshire shares trade. We wish instead for them to trade in a narrow range centered at intrinsic business value (which we hope increases at a reasonable-or, better yet, unreasonable-rate). Charlie and I are bothered as much by significant overvaluation as significant undervaluation. Both extremes will inevitably produce results for many shareholders that will differ sharply from Berkshire's business results. If our stock price instead consistently mirrors business value, each of our shareholders will receive an investment result that roughly parallels the business results of Berkshire during his holding period.

Second, we wish for very little trading activity. If we ran a private business with a few passive partners, we would be disappointed if those partners, and their replacements, frequently wanted to leave the partnership. Running a public company, we feel the same way.

Our goal is to attract long-term owners who, at the time of purchase, have no timetable or price target for sale but plan instead to stay with us indefinitely. We don't understand the CEO who wants lots of stock activity, for that can be achieved only if many of his owners are constantly exiting. At what other organization-school, club, church, etc.-do leaders cheer when members leave? (However if there were a broker whose livelihood depended upon the membership turnover in such organizations, you could be sure that there would be at least one proponent of activity, as in: "There hasn't been much going on in Christianity for a while; maybe we should switch to Buddhism next week.")

Of course, some Berkshire owners will need or want to sell from time to time, and we wish for good replacements who will pay them a fair price. Therefore we try, through our policies, performance, and communications, to attract new shareholders who understand our operations, share our time horizons, and measure us as we measure ourselves. If we can continue to attract this sort of shareholder-and, just as important, can continue to be uninteresting to those with short-term or unrealistic expectations-Berkshire shares should consistently sell at prices reasonably related to business value.[30]

C. *Dividend Policy*[31]

Dividend policy is often reported to shareholders, but seldom explained. A company will say something like, "Our goal is to pay out 40% to 50% of earnings and to increase dividends at a rate at least equal to the rise in the CPI". And that's it-no analysis will be supplied as to why that particular policy is best for the owners of the business. Yet, allocation of capital is crucial to business and investment management. Because it is, we believe managers and owners should think hard about the circumstances under which earnings should be retained and under which they should be distributed.

The first point to understand is that all earnings are not created equal. In many businesses-particularly those that have high asset/profit ratios-inflation causes some or all of the reported earnings to become ersatz. The ersatz portion-let's call these earnings "restricted"-cannot, if the business is to retain its economic position, be distributed as dividends. Were these earnings to be paid out, the business would lose ground in one or more of the following areas: its ability to maintain its unit volume of sales, its long-term competitive position, its financial strength. No matter how conservative its payout ratio, a company that consistently dis-

30 [The following is from 1989:]

With more than a year behind him of trading Berkshire's stock on the New York Stock Exchange, our specialist, Jim Maguire of [RBI] continues his outstanding performance. Before we listed, dealer spreads often were 3% or more of market price. Jim has maintained the spread at 50 points or less, which at current prices is well under 1%. hareholders who buy or sell benefit significantly from this reduction in transaction costs.

Because we are delighted by our experience with Jim, RBI and the NYSE, I said as much in ads that have been run in a series placed by the NYSE. Normally I shun testimonials, but I was pleased in this instance to publicly compliment the Exchange.

31 [1984.]

tributes restricted earnings is destined for oblivion unless equity capital is otherwise infused.

Restricted earnings are seldom valueless to owners, but they often must be discounted heavily. In effect, they are conscripted by the business, no matter how poor its economic potential. (This retention-no-matter-how-unattractive-the-return situation was communicated unwittingly in a marvelously ironic way by Consolidated Edison a decade ago. At the time, a punitive regulatory policy was a major factor causing the company's stock to sell as low as one-fourth of book value: i.e., every time a dollar of earnings was retained for reinvestment in the business, that dollar was transformed into only 25¢ of market value. But, despite this gold-into-lead process, most earnings were reinvested in the business rather than paid to owners. Meanwhile, at construction and maintenance sites throughout New York, signs proudly proclaimed the corporate slogan, "Dig We Must".)

Restricted earnings need not concern us further in this dividend discussion. Let's turn to the much-more-valued unrestricted variety. These earnings may, with equal feasibility, be retained or distributed. In our opinion, management should choose whichever course makes greater sense for the owners of the business.

This principle is not universally accepted. For a number of reasons managers like to withhold unrestricted, readily distributable earnings from shareholders-to expand the corporate empire over which the managers rule, to operate from a position of exceptional financial comfort, etc. But we believe there is only one valid reason for retention. Unrestricted earnings should be retained only when there is a reasonable prospect-backed preferably by historical evidence or, when appropriate, by a thoughtful analysis of the future-that *for every dollar retained by the corporation, at least one dollar of market value will be created for owners.* This will happen only if the capital retained produces incremental earnings equal to, or above, those generally available to investors.

To illustrate, let's assume that an investor owns a risk-free 10% perpetual bond with one very unusual feature. Each year the investor can elect either to take his 10% coupon in cash, or to reinvest the coupon in more 10% bonds with identical terms: i.e., a perpetual life and coupons offering the same cash-or-reinvest options. If, in any given year, the prevailing interest rate on long-term, risk-free bonds is 5%, it would be foolish for the investor to take his coupon in cash since the 10% bonds he could instead choose would be worth considerably more than 100¢ on the dollar.

Under these circumstances, the investor wanting to get his hands on cash should take his coupon in additional bonds and then immediately sell them. By doing that, he would realize more cash than if he had taken his coupon directly in cash. Assuming all bonds were held by rational investors, no one would opt for cash in an era of 5% interest, not even those bondholders needing cash for living purposes.

If, however, interest rates were 15%, no rational investor would want his money invested for him at 10%. Instead, the investor would choose to take his coupon in cash, even if his personal cash needs were nil. The opposite course-reinvestment of the coupon-would give an investor additional bonds with market value far less than the cash he could have elected. If he should want 10% bonds, he can simply take the cash received and buy them in the market, where they will be available at a large discount.

An analysis similar to that made by our hypothetical bondholder is appropriate for owners in thinking about whether a company's unrestricted earnings should be retained or paid out. Of course, the analysis is much more difficult and subject to error because the rate earned on reinvested earnings is not a contractual figure, as in our bond case, but rather a fluctuating figure. Owners must guess as to what the rate will average over the intermediate future. However, once an informed guess is made, the rest of the analysis is simple: you should wish your earnings to be reinvested if they can be expected to earn high returns, and you should wish them paid to you if low returns are the likely outcome of reinvestment.

Many corporate managers reason very much along these lines in determining whether subsidiaries should distribute earnings to their parent company. At that level, the managers have no trouble thinking like intelligent owners. But payout decisions at the parent company level often are a different story. Here managers frequently have trouble putting themselves in the shoes of their shareholder-owners.

With this schizoid approach, the CEO of a multi-divisional company will instruct Subsidiary A, whose earnings on incremental capital may be expected to average 5%, to distribute all available earnings in order that they may be invested in Subsidiary B, whose earnings on incremental capital are expected to be 15%. The CEO's business school oath will allow no lesser behavior. But if his own long-term record with incremental capital is 5%-and

market rates are 10%-he is likely to impose a dividend policy on shareholders of the parent company that merely follows some historical or industry-wide payout pattern. Furthermore, he will expect managers of subsidiaries to give him a full account as to why it makes sense for earnings to be retained in their operations rather than distributed to the parent-owner. But seldom will he supply *his* owners with a similar analysis pertaining to the whole company.

In judging whether managers should retain earnings, shareholders should not simply compare total incremental earnings in recent years to total incremental capital because that relationship may be distorted by what is going on in a core business. During an inflationary period, companies with a core business characterized by extraordinary economics can use small amounts of incremental capital in that business at very high rates of return (as was discussed in last year's section on Goodwill).32 But, unless they are experiencing tremendous unit growth, outstanding businesses by definition generate large amounts of excess cash. If a company sinks most of this money in other businesses that earn low returns, the company's overall return on retained capital may nevertheless appear excellent because of the extraordinary returns being earned by the portion of earnings incremental invested in the core business. The situation is analogous to a Pro-Am golf event: even if all of the amateurs are hopeless duffers, the team's best-ball score will be respectable because of the dominating skills of the professional.

Many corporations that consistently show good returns both on equity and on overall incremental capital have, indeed, employed a large portion of their retained earnings on an economically unattractive, even disastrous, basis. Their marvelous core businesses, however, whose earnings grow year after year, camouflage repeated failures in capital allocation elsewhere (usually involving high-priced acquisition of businesses that have inherently mediocre economics). The managers at fault periodically report on the lesson they have learned from the latest disappointment. They then usually seek out future lessons. (Failure seems to go to their heads.)

In such cases, shareholders would be far better off if earnings were retained only to expand the high-return business, with the balance paid in dividends or used to repurchase stock (an action that increases the owners' interest in the exceptional business while sparing them participation in subpar businesses). Managers of

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32 [*See* the essay Economic Goodwill Versus Accounting Goodwill in Part V.c.]

high-return businesses who consistently employ much of the cash thrown off by those businesses in other ventures with low returns should be held to account for those allocation decisions, regardless of how profitable the overall enterprise is.

Nothing in this discussion is intended to argue for dividends that bounce around from quarter to quarter with each wiggle in earnings or in investment opportunities. Shareholders of public corporations understandably prefer that dividends be consistent and predictable. Payments, therefore, should reflect long-term expectations for both earnings and returns on incremental capital. Since the long-term corporate outlook changes only infrequently, dividend patterns should change no more often. But over time distributable earnings that have been withheld by managers should earn their keep. If earnings have been unwisely retained, it is likely that managers, too, have been unwisely retained.

D. *Stock Splits and Trading Activity?>3*

We often are asked why Berkshire does not split its stock. The assumption behind this question usually appears to be that a split would be a pro-shareholder action. We disagree. Let me tell you why.

One of our goals is to have Berkshire Hathaway stock sell at a price rationally related to its intrinsic business value. (But note "rationally related," not "identical": if well-regarded companies are generally selling in the market at large discounts from value, Berkshire might well be priced similarly.) The key to a rational stock price is rational shareholders, both current and prospective.

If the holders of a company's stock and/or the prospective buyers attracted to it are prone to make irrational or emotion-based decisions, some pretty silly stock prices are going to appear periodically. Manic-depressive personalities produce manic-depressive valuations. Such aberrations may help us in buying and selling the stocks of other companies. But we think it is in both your interest and ours to minimize their occurrence in the market for Berkshire.

To obtain only high quality shareholders is no cinch. Mrs. Astor could select her 400, but anyone can buy any stock. Entering members of a shareholder "club" cannot be screened for intellectual capacity, emotional stability, moral sensitivity or acceptable

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33 [1983.]

dress. Shareholder eugenics, therefore, might appear to be a hopeless undertaking.

In large part, however, we feel that high quality ownership can be attracted and maintained if we consistently communicate our business and ownership *philosophy-along with no other conflicting messages-and* then let self selection follow its course. For example, self selection will draw a far different crowd to a musical event advertised as an opera than one advertised as a rock concert-even though anyone can buy a ticket to either.

Through our policies and communications-our "advertisements"-we try to attract investors who will understand our operations, attitudes and expectations. (And, fully as important, we try to dissuade those who won't.) We want those who think of themselves as business owners and invest in companies with the intention of staying a long time. And, we want those who keep their eyes focused on business results, not market prices.

Investors possessing those characteristics are in a small minority, but we have an exceptional collection of them. I believe well over 90%-probably over 95%-of our shares are held by those who were shareholders of Berkshire or Blue Chip five years ago. And I would guess that over 95% of our shares are held by investors for whom the holding is at least double the size of their next largest. Among companies with at least several thousand public shareholders and more than $1 billion of market value, we are almost certainly the leader in the degree to which our shareholders think and act like owners. Upgrading a shareholder group that possesses these characteristics is not easy.

Were we to split the stock or take other actions focusing on stock price rather than business value, we would attract an entering class of buyers inferior to the exiting class of sellers. At $1300, there are very few investors who can't afford a Berkshire share. Would a potential one-share purchaser be better off if we split 100 for 1 so he could buy 100 shares? Those who think so and who would buy the stock because of the split or in anticipation of one would definitely downgrade the quality of our present shareholder group. (Could we really improve our shareholder group by trading some of our present dear-thinking members for impressionable new ones who, preferring paper to value, feel wealthier with nine $10 bills than with one $100 bill?) People who buy for non-value reasons are likely to sell for non-value reasons. Their presence in the picture will accentuate erratic price swings unrelated to underlying business developments.

We will try to avoid policies that attract buyers with a short-term focus on our stock price and try to allow policies that attract informed long-term investors focusing on business values. Just as you purchased your Berkshire shares in a market populated by rational informed investors, you deserve a chance to sell-should you ever want to-in the same kind of market. We will work to keep it in existence.

One of the ironies of the stock market is the emphasis on activity. Brokers, using terms such as "marketability" and "liquidity", sing the praises of companies with high share turnover (those who cannot fill your pocket will confidently fill your ear). But investors should understand that what is good for the croupier is not good for the customer. A hyperactive stock market is the pickpocket of enterprise.

For example, consider a typical company earning, say, 12% on equity. Assume a very high turnover rate in its shares of 100% per year. If a purchase and sale of the stock trades at book value, the owners of our hypothetical company will pay, in aggregate, 2% of the company's net worth annually for the privilege of transferring ownership. This activity does nothing for the earnings of the business, and means that 1/6 of them are lost to the owners through the "frictional" cost of transfer. (And this calculation does not count option trading, which would increase frictional costs still further.)

All that makes for a rather expensive game of musical chairs. Can you imagine the agonized cry that would arise if a governmental unit were to impose a new *1623%* tax on earnings of corporations or investors? By market activity, investors can impose upon themselves the equivalent of such a tax.

Days when the market trades 100 million shares (and that kind of volume, when over-the-counter trading is included, is today abnormally low) are a curse for owners, not a blessing-for they mean that owners are paying twice as much to change chairs as they are on a SO-million-share day. If 100-million-share days persist for a year and the average cost on each purchase and sale is 1S¢ a share, the chair-changing tax for investors in aggregate would total about $7.5 billion-an amount roughly equal to the combined 1982 profits of Exxon, General Motors, Mobil and Texaco, the four largest companies in the Fortune 500.

These companies had a combined net worth of $75 billion at yearend 1982 and accounted for over 12% of both net worth and net income of the entire Fortune 500 list. Under our assumption investors, in aggregate, every year forfeit all earnings from this

staggering sum of capital merely to satisfy their penchant for "financial flip-flopping". In addition, investment management fees of over $2 billion annually-sums paid for chair-changing advice-require the forfeiture by investors of all earnings of the five largest banking organizations (Citicorp, Bank America, Chase Manhattan, Manufacturers Hanover and J.P. Morgan). These expensive activities may decide who eats the pie, but they don't enlarge it.

(We are aware of the pie-expanding argument that says that such activities improve the rationality of the capital allocation process. We think that this argument is specious and that, on balance, hyperactive equity markets subvert rational capital allocation and act as pie shrinkers. Adam Smith felt that all noncollusive acts in a free market were guided by an invisible hand that led an economy to maximum progress; our view is that casino-type markets and hair-trigger investment management act as an invisible foot that trips up and slows down a forward-moving economy.)

Contrast the hyperactive stock with Berkshire. The bid-and-ask spread in our stock currently is about 30 points, or a little over 2%. Depending on the size of the transaction, the difference between proceeds received by the seller of Berkshire and cost to the buyer may range downward from 4% (trading involving only a few shares) to perhaps 1½% (in large trades where negotiation can reduce both the market-maker's spread and the broker's commission). Because most Berkshire shares are traded in fairly large transactions, the spread on all trading probably does not average more than 2%.

Meanwhile, true turnover in Berkshire stock (excluding inter-dealer transactions, gifts and bequests) probably runs 3% per year. Thus our owners, in aggregate, are paying perhaps *6/100* of 1% of Berkshire's market value annually for transfer privileges. By this very rough estimate, that's $900,000-not a small cost, but far less than average. Splitting the stock would increase that cost, downgrade the quality of our shareholder population, and encourage a market price less consistently related to intrinsic business value. We see no offsetting advantages.

E. *Shareholder Strategies*[34]

Late last year Berkshire's stock price crossed $10,000. Several shareholders have mentioned to me that the high price causes them problems: They like to give shares away each year and find them-

34 [1992.]

selves impeded by the tax rule that draws a distinction between annual gifts of $10,000 or under to a single individual and those above $10,000. That is, those gifts no greater than $10,000 are completely tax-free; those above $10,000 require the donor to use up a portion of his or her lifetime exemption from gift and estate taxes, or, if that exemption has been exhausted, to pay gift taxes.

I can suggest three ways to address this problem. The first would be useful to a married shareholder, who can give up to $20,000 annually to a single recipient, as long as the donor files a gift tax return containing his or her spouse's written consent to gifts made during the year.

Secondly, a shareholder, married or not, can make a bargain sale. Imagine, for example, that Berkshire is selling for $12,000 and that one wishes to make only a $10,000 gift. In that case, sell the stock to the giftee for $2,000. (Caution: You will be taxed on the amount, if any, by which the sales price to your giftee exceeds your tax basis.)

Finally, you can establish a partnership with people to whom you are making gifts, fund it with Berkshire shares, and simply give percentage interests in the partnership away each year. These interests can be for any value that you select. If the value is $10,000 or less, the gift will be tax-free.

We issue the customary warning: Consult with your own tax advisor before taking action on any of the more esoteric methods of gift-making.

We hold to the view about stock splits that we set forth in the 1983 Annual Report.[35] Overall, we believe our owner-related policies-including the no-split policy-have helped us assemble a body of shareholders that is the best associated with any widely-held American corporation. Our shareholders think and behave like rational long-term owners and view the business much as Charlie and I do. Consequently, our stock consistently trades in a price range that is sensibly related to intrinsic value.

Additionally, we believe that our shares turn over far less actively than do the shares of any other widely-held company. The frictional costs of trading-which act as a major "tax" on the owners of many companies-are virtually non-existent at Berkshire. (The market-making skills of Jim Maguire, our New York Stock Exchange specialist, definitely help to keep these costs low.) Obviously a split would not change this situation dramatically. None-

35 *[See* the essay Stock Splits and Trading Activity in Part iII.D.]

theless, there is no way that our shareholder group would be upgraded by the new shareholders enticed by a split. Instead we believe that modest degradation would occur.

F. *Berkshire's Recapitalization*[36]

At the Annual Meeting you will be asked to approve a recapitalization of Berkshire, creating two classes of stock. If the plan is adopted, our existing common stock will be designated as Class A Common Stock and a new Class B Common Stock will be authorized.

Each share of the "B" will have the rights of 1I30th of an "A" share with these exceptions: First, a B share will have 1I200th of the vote of an A share (rather than 1I30th of the vote). Second, the B will not be eligible to participate in Berkshire's shareholder-designated charitable contributions program.

When the recapitalization is complete, each share of A will become convertible, at the holder's option and at any time, into 30 shares of B. This conversion privilege will not extend in the opposite direction. That is, holders of B shares will not be able to convert them into A shares.

We expect to list the B shares on the New York Stock Exchange, where they will trade alongside the A stock. To create the shareholder base necessary for a listing-and to ensure a liquid market in the B stock-Berkshire expects to make a public offering for cash of at least $100 million of new B shares. The offering will be made only by means of a prospectus.

The market will ultimately determine the price of the B shares. Their price, though, should be in the neighborhood of 1I30th of the price of the A shares.

Class A shareholders who wish to give gifts may find it convenient to convert a share or two of their stock into Class B shares. Additionally, arbitrage-related conversions will occur if demand for the B is strong enough to push its price to slightly above 1I30th of the price of A.

However, because the Class A stock will entitle its holders to full voting rights and access to Berkshire's contributions program, these shares will be superior to the Class B shares and we would expect most shareholders to remain holders of the Class A-which is precisely what the Buffett and Munger families plan to do, except in those instances when we ourselves might convert a few

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36 [Divided by hash lines: 1995; 1996.]

shares to facilitate gifts. The prospect that most shareholders will stick to the A stock suggests that it will enjoy a somewhat more liquid market than the B.

There are tradeoffs for Berkshire in this recapitalization. But they do not arise from the proceeds of the offering-we will find constructive uses for the money-nor in any degree from the price at which we will sell the B shares. As I write this-with Berkshire stock at $36,000-Charlie and I do not believe it undervalued. Therefore, the offering we propose will not diminish the per-share intrinsic value of our existing stock. Let me also put our thoughts about valuation more baldly: Berkshire is selling at a price at which Charlie and I would not consider buying it.

What Berkshire will incur by way of the B stock are certain added costs, including those involving the mechanics of handling a larger number of shareholders. On the other hand, the stock should be a convenience for people wishing to make gifts. And those of you who have hoped for a split have gained a do-it-yourself method of bringing one about.

We are making this move, though, for other reasons-having to do with the appearance of expense-laden unit trusts purporting to be low-priced "clones" of Berkshire and sure to be aggressively marketed. The idea behind these vehicles is not new: In recent years, a number of people have told me about their wish to create an "all-Berkshire" investment fund to be sold at a low dollar price. But until recently, the promoters of these investments heard out my objections and backed off.

I did not discourage these people because I prefer large investors over small. Were it possible, Charlie and I would love to turn $1,000 into $3,000 for multitudes of people who would find that gain an important answer to their immediate problems.

In order to quickly triple small stakes, however, we would have to just as quickly turn our present market capitalization of $43 billion into $129 billion (roughly the market cap of General Electric, America's most highly valued company). *We can't come close to doing that.* The very best we hope for is-on average-to double Berkshire's per-share intrinsic value every five years, and we may well fall far short of that goal.

In the end, Charlie and I do not care whether our shareholders own Berkshire in large or small amounts. What we wish for are shareholders of any size who are knowledgeable about our operations, share our objectives and long-term perspective, and are

aware of our limitations, most particularly those imposed by our large capital base.

The unit trusts that have recently surfaced fly in the face of these goals. They would be sold by brokers working for big commissions, would impose other burdensome costs on their shareholders, and would be marketed *en masse* to unsophisticated buyers, apt to be seduced by our past record and beguiled by the publicity Berkshire and I have received in recent years. The sure outcome: a multitude of investors destined to be disappointed.

Through our creation of the B stock-a low-denomination product far superior to Berkshire-only trusts-we hope to make the clones unmerchandisable.

But both present and prospective Berkshire shareholders should pay special attention to one point: Though the per-share intrinsic value of our stock has grown at an excellent rate during the past five years, its market price has grown still faster. The stock, in other words, has outperformed the business.

That kind of market overperformance cannot persist indefinitely, neither for Berkshire nor any other stock. *Inevitably, there will be periods of underperformance as well.* The price volatility that results, though endemic to public markets, is not to our liking. What we would prefer instead is to have the market price of Berkshire precisely track its intrinsic value. Were the stock to do that, every shareholder would benefit during his period of ownership in exact proportion to the progress Berkshire itself made in the period.

Obviously, the market behavior of Berkshire's stock will never conform to this ideal. But we will come closer to this goal than we would otherwise if our present and prospective shareholders are informed, business-oriented and not exposed to high-commission salesmanship when making their investment decisions. To that end, we are better off if we can blunt the merchandising efforts of the unit trust-and that is the reason we are creating the B stock.

[W]e made two good-sized offerings through Salomon [during 1996], both with interesting aspects. The first was our sale in May of 517,500 shares of Class B Common, which generated net proceeds of $565 million. As I have told you before, we made this sale in response to the threatened creation of unit trusts that would have marketed themselves as Berkshire look-alikes. In the process, they would have used our past, and definitely nonrepeatable,

record to entice naive small investors and would have charged these innocents high fees and commissions.

I think it would have been quite easy for such trusts to have sold many billions of dollars worth of units, and I also believe that early marketing successes by these trusts would have led to the formation of others. (In the securities business, whatever can be sold will be sold.) The trusts would have meanwhile indiscriminately poured the proceeds of their offerings into a supply of Berkshire shares that is fixed and limited. The likely result: a speculative bubble in our stock. For at least a time, the price jump would have been self-validating, in that it would have pulled new waves of naive and impressionable investors into the trusts and set off still more buying of Berkshire shares.

Some Berkshire shareholders choosing to exit might have found that outcome ideal, since they could have profited at the expense of the buyers entering with false hopes. Continuing shareholders, however, would have suffered once reality set in, for at that point Berkshire would have been burdened with both hundreds of thousands of unhappy, indirect owners (trustholders, that is) and a stained reputation.

Our issuance of the B shares not only arrested the sale of the trusts, but provided a low-cost way for people to invest in Berkshire if they still wished to after hearing the warnings we issued. To blunt the enthusiasm that brokers normally have for pushing new issues-because that's where the money is-we arranged for our offering to carry a commission of only *1¼%,* the lowest payoff that we have ever seen in common stock underwriting. Additionally, we made the amount of the offering open-ended, thereby repelling the typical IPO buyer who looks for a short-term price spurt arising from a combination of hype and scarcity.

Overall, we tried to make sure that the B stock would be purchased only by investors with a long-term perspective. Those efforts were generally successful: Trading volume in the B shares immediately following the offering-a rough index of "flipping"-was far below the norm for a new issue. In the end we added about 40,000 shareholders, most of whom we believe both understand what they own and share our time horizons.

Salomon could not have performed better in the handling of this unusual transaction. Its investment bankers understood perfectly what we were trying to achieve and tailored every aspect of the offering to meet these objectives. The firm would have made far more money-perhaps ten times as much-if our offering had

been standard in its make-up. But the investment bankers involved made no attempt to tweak the specifics in that direction. Instead they came up with ideas that were counter to Salomon's financial interest but that made it much more certain Berkshire's goals would be reached. Terry Fitzgerald captained this effort, and we thank him for the job that he did.

Given that background, it won't surprise you to learn that we again went to Terry when we decided late in the year to sell an issue of Berkshire notes that can be exchanged for a portion of the Salomon shares that we hold. In this instance, once again, Salomon did an absolutely first-class job, selling $500 million principal amount of five-year notes for $447.1 million. Each $1,000 note is exchangeable into 17.65 shares and is callable in three years at accreted value. Counting the original issue discount and a 1% coupon, the securities will provide a yield of 3% to maturity for holders who do not exchange them for Salomon stock. But it seems quite likely that the notes will be exchanged before their maturity. If that happens, our interest cost will be about 1.1% for the period prior to exchange.

In recent years, it has been written that Charlie and I are unhappy about all investment-banking fees. That's dead wrong. We have paid a great many fees over the last 30 years-beginning with the check we wrote to Charlie Heider upon our purchase of National Indemnity in 1967-and we are delighted to make payments that are commensurate with performance. In the case of the 1996 transactions at Salomon Brothers we more than got our money's worth.

IV. MERGERS AND ACQUISITIONS

Of all our activities at Berkshire, the most exhilarating for Charlie and me is the acquisition of a business with excellent economic characteristics and a management that we like, trust and admire. Such acquisitions are not easy to make but we look for them constantly. In the search, we adopt the same attitude one might find appropriate in looking for a spouse: It pays to be active, interested, and open-minded, but it does not pay to be in a hurry.

In the past, I've observed that many acquisition-hungry managers were apparently mesmerized by their childhood reading of the story about the frog-kissing princess. Remembering her success, they pay dearly for the right to kiss corporate toads, expecting wondrous transfigurations. Initially, disappointing results only deepen their desire to round up new toads. ("Fanaticism," said [Santayana], "consists of redoubling your effort when you've forgotten your aim.") Ultimately, even the most optimistic manager must face reality. Standing knee-deep in unresponsive toads, he then announces an enormous "restructuring" charge. In this corporate equivalent of a Head Start program, the CEO receives the education but the stockholders pay the tuition.

In my early days as a manager I, too, dated a few toads. They were cheap dates-I've never been much of a sport-but my results matched those of acquirers who courted higher-priced toads. I kissed and they croaked.

After several failures of this type, I finally remembered some useful advice I once got from a golf pro (who, like all pros who have had anything to do with my game, wishes to remain anonymous). Said the pro: "Practice doesn't make perfect; practice makes permanent." And thereafter I revised my strategy and tried to buy good businesses at fair prices rather than fair businesses at good prices.[37]

A. *Bad Motives and High Prices*[38]

As our history indicates, we are comfortable both with total ownership of businesses and with marketable securities representing small portions of businesses. We continually look for ways to employ large sums in each area. (But we try to avoid small commitments-"If something's not worth doing at all, it's not worth doing well".) Indeed, the liquidity requirements of our insurance

37 [Introductory essay, 1992.]

38 [Divided by hash lines: 1981; 1982; 1994.]

and trading stamp businesses mandate major investments in marketable securities.

Our acquisition decisions will be aimed at maximizing real economic benefits, not at maximizing either managerial domain or reported numbers for accounting purposes. (In the long run, managements stressing accounting appearance over economic substance usually achieve little of either.)

Regardless of the impact upon immediately reportable earnings, we would rather buy 10% of Wonderful Business T at X per share than 100% of Tat 2X per share. Most corporate managers prefer just the reverse, and have no shortage of stated rationales for their behavior.

However, we suspect three motivations-usually unspoken-to be, singly or in combination, the important ones in most high-premium takeovers:

(1) Leaders, business or otherwise, seldom are deficient in animal spirits and often relish increased activity and challenge. At Berkshire, the corporate pulse never beats faster than when an acquisition is in prospect.

(2) Most organizations, business or otherwise, measure themselves, are measured by others, and compensate their managers far more by the yardstick of size than by any other yardstick. (Ask a *Fortune 500* manager where his corporation stands on that famous list and, invariably, the number responded will be from the list ranked by size of sales; he may well not even know where his corporation places on the list *Fortune* just as faithfully compiles ranking the same 500 corporations by profitability.)

(3) Many managements apparently were overexposed in impressionable childhood years to the story in which the imprisoned handsome prince is released from a toad's body by a kiss from a beautiful princess. Consequently, they are certain their managerial kiss will do wonders for the profitability of Company T(arget).

Such optimism is essentiaL Absent that rosy view, why else should the shareholders of Company A(cquisitor) want to own an interest in T at the 2X takeover cost rather than at the X market price they would pay if they made direct purchases on their own?

In other words, investors can always buy toads at the going price for toads. If investors instead bankroll princesses who wish to pay double for the right to kiss the toad, those kisses had better pack some real dynamite. We've observed many kisses but very

few miracles. Nevertheless, many managerial princesses remain serenely confident about the future potency of their kisses-even after their corporate backyards are knee-deep in unresponsive toads. In fairness, we should acknowledge that some acquisition records have been dazzling. Two major categories stand out.

The first involves companies that, through design or accident, have purchased only businesses that are particularly well adapted to an inflationary environment. Such favored business must have two characteristics: (1) an ability to increase prices rather easily (even when product demand is flat and capacity is not fully utilized) without fear of significant loss of either market share or unit volume, and (2) an ability to accommodate large dollar volume increases in business (often produced more by inflation than by real growth) with only minor additional investment of capital. Managers of ordinary ability, focusing solely on acquisition possibilities meeting these tests, have achieved excellent results in recent decades. However, very few enterprises possess both characteristics, and competition to buy those that do has now become fierce to the point of being self-defeating.

The second category involves the managerial superstars-men who can recognize that rare prince who is disguised as a toad, and who have managerial abilities that enable them to peel away the disguise. We salute such managers as Ben Heineman at Northwest Industries, Henry Singleton at Teledyne, Erwin Zaban at National Service Industries, and especially Tom Murphy at Capital Cities Communications (a real managerial "twofer", whose acquisition efforts have been properly focused in Category 1 and whose operating talents also make him a leader of Category 2). From both direct and vicarious experience, we recognize the difficulty and rarity of these executives' achievements. (So do they; these champs have made very few deals in recent years, and often have found repurchase of their own shares to be the most sensible employment of corporate capital.)

Your Chairman, unfortunately, does not qualify for Category 2. And, despite a reasonably good understanding of the economic factors compelling concentration in Category 1, our actual acquisition activity in that category has been sporadic and inadequate. Our preaching was better than our performance. (We neglected the Noah principle: predicting rain doesn't count, building arks does.)

We have tried occasionally to buy toads at bargain prices with results that have been chronicled in past reports. Clearly our kisses

fell fiat. We have done well with a couple of princes-but they were princes when purchased. At least our kisses didn't turn them into toads. And, finally, we have occasionally been quite successful in purchasing fractional interests in easily-identifiable princes at toad-like prices.

Berkshire and Blue Chip are considering merger in 1983. If it takes place, it will involve an exchange of stock based upon an identical valuation method applied to both companies. The one other significant issuance of shares by Berkshire or its affiliated companies that occurred during present management's tenure was in the 1978 merger of Berkshire with Diversified Retailing Company.

Our share issuances follow a simple basic rule: we will not issue shares unless we receive as much intrinsic business value as we give. Such a policy might seem axiomatic. Why, you might ask, would anyone issue dollar bills in exchange for fifty-cent pieces? Unfortunately, many corporate managers have been willing to do just that.

The first choice of these managers in making acquisitions may be to use cash or debt. But frequently the CEO's cravings outpace cash and credit resources (certainly mine always have). Frequently, also, these cravings occur when his own stock is selling far below intrinsic business value. This state of affairs produces a moment of truth. At that point, as Yogi Berra has said, "You can observe a lot just by watching." For shareholders then will find which objective the management truly prefers-expansion of domain or maintenance of owners' wealth.

The need to choose between these objectives occurs for some simple reasons. Companies often sell in the stock market below their intrinsic business value. But when a company wishes to sell out completely, in a negotiated transaction, it inevitably wants to-and usually can-receive full business value in whatever kind of currency the value is to be delivered. If cash is to be used in payment, the seller's calculation of value received couldn't be easier. If stock of the buyer is to be the currency, the seller's calculation is still relatively easy: just figure the market value in cash of what is to be received in stock.

Meanwhile, the buyer wishing to use his own stock as currency for the purchase has no problems if the stock is selling in the market at full intrinsic value.

But suppose it is selling at only half intrinsic value. In that case, the buyer is faced with the unhappy prospect of using a substantially undervalued currency to make its purchase.

Ironically, were the buyer to instead be a seller of its *entire* business, it too could negotiate for, and probably get, full intrinsic business value. But when the buyer makes a partial sale of itself-*and that is what the issuance of shares to make an acquisition amounts to-it* can customarily get no higher value set on its shares than the market chooses to grant it.

The acquirer who nevertheless barges ahead ends up using an undervalued (market value) currency to pay for a fully valued (negotiated value) property. In effect, the acquirer must give up $2 of value to receive $1 of value. Under such circumstances, a marvelous business purchased at a fair sales price becomes a terrible buy. For gold valued as gold cannot be purchased intelligently through the utilization of gold-or even silver-valued as lead.

If, however, the thirst for size and action is strong enough, the acquirer's manager will find ample rationalizations for such a value-destroying issuance of stock. Friendly investment bankers will reassure him as to the soundness of his actions. (Don't ask the barber whether you need a haircut.)

A few favorite rationalizations employed by stock-issuing managements follow:

(a) "The company we're buying is going to be worth a lot more in the future." (Presumably so is the interest in the old business that is being traded away; future prospects are implicit in the business valuation process. If 2X is issued for X, the imbalance still exists when both parts double in business value.)

(b) "We have to grow." (Who, it might be asked, is the "we"? For present shareholders, the reality is that all existing businesses shrink when shares are issued. Were Berkshire to issue shares tomorrow for an acquisition, Berkshire would own everything that it now owns plus the new business, but *your* interest in such hard-to-match businesses as See's Candy Shops, National Indemnity, etc. would automatically be reduced. If (1) your family owns a 120-acre farm and (2) you invite a neighbor with 60 acres of comparable land to merge his farm into an equal partnership-with you to be managing partner, then (3) your managerial domain will have grown to 180 acres but you will have permanently shrunk by 25% your family's ownership in-

terest in both acreage and crops. Managers who want to expand their domain at the expense of owners might better consider a career in government.)

(c) "Our stock is undervalued and we've minimized its use in this deal-but we need to give the selling shareholder 51% in stock and 49% in cash so that certain of those shareholders can get the tax-free exchange they want." (This argument acknowledges that it is beneficial to the acquirer to hold down the issuance of shares, and we like that. But if it hurts old owners to utilize shares on a 100% basis, it very likely hurts on a 51% basis. After all, a man is not charmed if a spaniel defaces his lawn, just because it's a spaniel and not a St. Bernard. And the wishes of sellers can't be the determinant of the best interests of the buyer-what would happen if, heaven forbid, the seller insisted that as a condition of merger the CEO of the acquirer be replaced?)

There are three ways to avoid destruction of value for old owners when shares are issued for acquisitions. One is to have a true business-value-for-business-value merger, such as the Berkshire-Blue Chip combination is intended to be. Such a merger attempts to be fair to shareholders of *both* parties, with each receiving just as much as it gives in terms of intrinsic business value. The Dart Industries-Kraft and Nabisco-Standard Brands mergers appeared to be of this type, but they are the exceptions. It's not that acquirers wish to avoid such deals; it's just that they are very hard to do.

The second route presents itself when the acquirer's stock sells at or above its intrinsic business value. In that situation, the use of stock as currency actually may enhance the wealth of the acquiring company's owners. Many mergers were accomplished on this basis in the 1965-69 period. The results were the converse of most of the activity since 1970: the shareholders of the *acquired* company received very inflated currency (frequently pumped up by dubious accounting and promotional techniques) and were the losers of wealth through such transactions.

During recent years the second solution has been available to very few large companies. The exceptions have primarily been those companies in glamorous or promotional businesses to which the market temporarily attaches valuations at or above intrinsic business valuation.

The third solution is for the acquirer to go ahead with the acquisition, but then subsequently repurchase a quantity of shares equal to the number issued in the merger. In this manner, what originally was a stock-for-stock merger can be converted, effectively, into a cash-for-stock acquisition. Repurchases of this kind are damage-repair moves. Regular readers will correctly guess that we much prefer repurchases that directly enhance the wealth of owners instead of repurchases that merely repair previous damage. Scoring touchdowns is more exhilarating than recovering one's fumbles. But, when a fumble has occurred, recovery is important and we heartily recommend damage-repair repurchases that turn a bad stock deal into a fair cash deal.

The language utilized in mergers tends to confuse the issues and encourage irrational actions by managers. For example, "dilution" is usually carefully calculated on a pro forma basis for both book value and current earnings per share. Particular emphasis is given to the latter item. When that calculation is negative (dilutive) from the acquiring company's standpoint, a justifying explanation will be made (internally, if not elsewhere) that the lines will cross favorably at some point in the future. (While deals often fail in practice, they never fail in projections-if the CEO is visibly panting over a prospective acquisition, subordinates and consultants will supply the requisite projections to rationalize any price.) Should the calculation produce numbers that are immediately positive-that is, anti-dilutive-for the acquirer, no comment is thought to be necessary.

The attention given this form of dilution is overdone: current earnings per share (or even earnings per share of the next few years) are an important variable in most business valuations, but far from all-powerful.

There have been plenty of mergers, non-dilutive in this limited sense, that were instantly value-destroying for the acquirer. And some mergers that have diluted current and near-term earnings per share have in fact been value-enhancing. What really counts is whether a merger is dilutive or anti-dilutive in terms of intrinsic business value (a judgment involving consideration of many variables). We believe calculation of dilution from this viewpoint to be all-important (and too seldom made).

A second language problem relates to the equation of exchange. If Company A announces that it will issue shares to merge with Company B, the process is customarily described as "Company A to Acquire Company B", or "B Sells to A". Clearer think-

ing about the matter would result if a more awkward but more accurate description were used: "Part of A sold to acquire B", or "Owners of B to receive part of A in exchange for their properties". In a trade, what you are giving is just as important as what you are getting. This remains true even when the final tally on what is being given is delayed. Subsequent sales of common stock or convertible issues, either to complete the financing for a deal or to restore balance sheet strength, must be fully counted in evaluating the fundamental mathematics of the original acquisition. (If corporate pregnancy is going to be the consequence of corporate mating, the time to face that fact is before the moment of ecstasy.)

Managers and directors might sharpen their thinking by asking themselves if they would sell 100% of their business on the same basis they are being asked to sell part of it. And if it isn't smart to sell all on such a basis, they should ask themselves why it is smart to sell a portion. A cumulation of small managerial stupidities will produce a major stupidity-not a major triumph. (Las Vegas has been built upon the wealth transfers that occur when people engage in seemingly-small disadvantageous capital transactions.)

The "giving versus getting" factor can most easily be calculated in the case of registered investment companies. Assume Investment Company X, selling at 50% of asset value, wishes to merge with Investment Company Y. Assume, also, that Company X therefore decides to issue shares equal in market value to 100% of Y's asset value.

Such a share exchange would leave X trading $2 of its previous intrinsic value for $1 of Y's intrinsic value. Protests would promptly come forth from both X's shareholders and the SEC, which rules on the fairness of registered investment company mergers. Such a transaction simply would not be allowed.

In the case of manufacturing, service, financial companies, etc., values are not normally as precisely calculable as in the case of investment companies. But we have seen mergers in these industries that just as dramatically destroyed value for the owners of the acquiring company as was the case in the hypothetical illustration above. This destruction could not happen if management and directors would assess the fairness of any transaction by using the same yardstick in the measurement of both businesses.

Finally, a word should be said about the "double whammy" effect upon owners of the acquiring company when value-diluting stock issuances occur. Under such circumstances, the first blow is the loss of intrinsic business value that occurs through the merger

itself. The second is the downward revision in market valuation that, quite rationally, is given to that now-diluted business value. For current and prospective owners understandably will not pay as much for assets lodged in the hands of a management that has a record of wealth-destruction through unintelligent share issuances as they will pay for assets entrusted to a management with precisely equal operating talents, but a known distaste for anti-owner actions. Once management shows itself insensitive to the interests of owners, shareholders will suffer a long time from the price/value ratio afforded their stock (relative to other stocks), no matter what assurances management gives that the value-diluting action taken was a one-of-a-kind event.

Those assurances are treated by the market much as one-bug-in-the-salad explanations are treated at restaurants. Such explanations, even when accompanied by a new waiter, do not eliminate a drop in the demand (and hence market value) for salads, both on the part of the offended customer and his neighbors pondering what to order. Other things being equal, the highest stock market prices relative to intrinsic business value are given to companies whose managers have demonstrated their unwillingness to issue shares at any time on terms unfavorable to the owners of the business.

[I]n contemplating business mergers and acquisitions, many managers tend to focus on whether the transaction is immediately dilutive or anti-dilutive to earnings per share (or, at financial institutions, to per-share book value). An emphasis of this sort carries great dangers. . . . [I]magine that a 25-year-old first-year MBA student is considering merging his future economic interests with those of a 25-year-old day laborer. The MBA student, a non-earner, would find that a "share-for-share" merger of his equity interest in himself with that of the day laborer would enhance his near-term earnings (in a big way!). But what could be sillier for the student than a deal of this kind?

In corporate transactions, it's equally silly for the would-be purchaser to focus on current earnings when the prospective acquiree has either different prospects, a different mix of operating and non-operating assets, or a different capital structure. At Berkshire, we have rejected many merger and purchase opportunities that would have boosted current and near-term earnings but that would have reduced per-share intrinsic value. Our approach, rather, has been to follow Wayne Gretzky's advice: "Go to where

the puck is going to be, not to where it is." As a result, our shareholders are now many billions of dollars richer than they would have been if we had used the standard catechism.

The sad fact is that most major acquisitions display an egregious imbalance: They are a bonanza for the shareholders of the acquiree; they increase the income and status of the acquirer's management; and they are a honey pot for the investment bankers and other professionals on both sides. But, alas, they usually reduce the wealth of the acquirer's shareholders, often to a substantial extent. That happens because the acquirer typically gives up more intrinsic value than it receives. Do that enough, says John Medlin, the retired head of Wachovia Corp., and "you are running a chain letter in reverse."

Over time, the skill with which a company's managers allocate capital has an enormous impact on the enterprise's value. Almost by definition, a really good business generates far more money (at least after its early years) than it can use internally. The company could, of course, distribute the money to shareholders by way of dividends or share repurchases. But often the CEO asks a strategic planning staff, consultants or investment bankers whether an acquisition or two might make sense. That's like asking your interior decorator whether you need a $50,000 rug.

The acquisition problem is often compounded by a biological bias: Many CEO's attain their positions in part because they possess an abundance of animal spirits and ego. If an executive is heavily endowed with these qualities-which, it should be acknowledged, sometimes have their advantages-they won't disappear when he reaches the top. When such a CEO is encouraged by his advisors to make deals, he responds much as would a teenage boy who is encouraged by his father to have a normal sex life. It's not a push he needs.

Some years back, a CEO friend of mine-in jest, it must be said-unintentionally described the pathology of many big deals. This friend, who ran a property-casualty insurer, was explaining to his directors why he wanted to acquire a certain life insurance company. After droning rather unpersuasively through the economics and strategic rationale for the acquisition, he abruptly abandoned the script. With an impish look, he simply said: "Aw, fellas, all the other kids have one."

At Berkshire, our managers will continue to earn extraordinary returns from what appear to be ordinary businesses. As a first step, these managers will look for ways to deploy their earnings

advantageously in their businesses. What's left, they will send to Charlie and me. We then will try to use those funds in ways that build per-share intrinsic value. Our goal will be to acquire either part or all of businesses that we believe we understand, that have good, sustainable underlying economics, and that are run by managers whom we like, admire and trust.

B. *Sensible Stock Repurchases Versus Greenmaip9*

The companies in which we have our largest investments have all engaged in significant stock repurchases at times when wide discrepancies existed between price and value. As shareholders, we find this encouraging and rewarding for two important reasons- one that is obvious, and one that is subtle and not always understood. The obvious point involves basic arithmetic: major repurchases at prices well below per-share intrinsic business value immediately increase, in a highly significant way, that value. When companies purchase their own stock, they often find it easy to get $2 of present value for $1. Corporate acquisition programs almost never do as well and, in a discouragingly large number of cases, fail to get anything close to $1 of value for each $1 expended.

The other benefit of repurchases is less subject to precise measurement but can be fully as important over time. By making repurchases when a company's market value is well below its business value, management clearly demonstrates that it is given to actions that enhance the wealth of shareholders, rather than to actions that expand management's domain but that do nothing for (or even harm) shareholders. Seeing this, shareholders and potential shareholders increase their estimates of future returns from the business. This upward revision, in turn, produces market prices more in line with intrinsic business value. These prices are entirely rational. Investors should pay more for a business that is lodged in the hands of a manager with demonstrated pro-shareholder leanings than for one in the hands of a self-interested manager marching to a different drummer. (To make the point extreme, how much would you pay to be a minority shareholder of a company controlled by Robert Vesco?)

The key word is "demonstrated". A manager who consistently turns his back on repurchases, when these clearly are in the interests of owners, reveals more than he knows of his motivations. No matter how often or how eloquently he mouths some public rela-

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39 [Divided by hash lines: 1984; 1984.]

tions-inspired phrase such as "maximizing shareholder wealth" (this season's favorite), the market correctly discounts assets lodged with him. His heart is not listening to his mouth-and, after a while, neither will the market.

(Our endorsement of repurchases is limited to those dictated by price/value relationships and does not extend to the "greenmail" repurchase-a practice we find odious and repugnant. **In** these transactions, two parties achieve their personal ends by exploitation of an innocent and unconsulted third party. The players are: (1) the "shareholder" extortionist who, even before the ink on his stock certificate dries, delivers his "your-money-or-your-life" message to managers; (2) the corporate insiders who quickly seek peace at any price-as long as the price is paid by someone else; and (3) the shareholders whose money is used by (2) to make (1) go away. As the dust settles, the mugging, transient shareholder gives his speech on "free enterprise", the muggee management gives its speech on "the best interests of the company", and the innocent shareholder standing by mutely funds the payoff.)

C. *Leveraged Buyouts*[40]

If successful corporate business acquisition is so hard, how does one explain the widespread recent success of most of the leveraged-buy-out ("LBO") operators who have purchased corporations? A huge part of the answer comes from income-tax effects and other simple effects. When, in a typical LBO, the typical mostly equity corporate capitalization was replaced by 90% debt plus a new lO%-of-capitalization common stock position:

(1) the combined market value of all the new common stock plus all the new debt became much higher than the previous market value of all the older common stock, because the existing stream of pre-tax earnings was no longer shared with corporate income tax collectors who, in many cases, had previously received more cash each year than shareholders; and

(2) even after the value-enhancing effect of the corporate tax reduction was shared with former shareholders by paying them extra-high prices to leave, a retained residue of value-enhancing tax effect made the new common stock

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40 [1989 Wesco Financial Corporation Letter to Shareholders, by Charles T. Munger. Reprinted with permission.]

(which now became much like a speculative warrant with good terms) worth considerably more than cost as the ink dried on acquisition papers; and

(3) the new "owners" then resorted to strategies, difficult neither to conceive nor implement, including the following:
   (a) they eliminated many of the easily removable costs (largely personnel costs) and sub-par segments which in some mix (i) bedevil successful corporations (including ours) with sloth and folly and (ii) create their humane grace and, through present sacrifice, good long-term prospects, justifying sacrifice endured; and
   (b) they sold off a few operations at super-high prices, sometimes exercising the easiest microeconomic insight by selling to a direct competitor and sometimes selling to a surprisingly easy-to-find non-competitive corporate buyer, not owned by its managers, willing to pay almost as high a price as a competitor would; and

(4) the new "owners" then profited, in due course, not only from the tax effect and other simple reshuffling activities described above, but also from the wonderful upside effects of extreme financial leverage during a long business boom accompanied by a rising stock market.

Whether the country wants a large number (or even any) of its large corporations to have extremely leveraged capitalizations, except through occasional adversity, presents interesting social questions. Is one social function of corporations to be financially strong so that they act as shock absorbers, protecting dependent employees, suppliers and customers from part of the volatility implicit in capitalism? Was Ben Franklin right when he included the following folk wisdom in *Poor Richard's Almanac:* "It is hard for an empty sack to stand upright." Is a weak corporation, borrowed to the hilt, the social equivalent of a bridge with an inadequate reserve of structural strength? Granting that leveraged buyouts have some favorable effects (as well as unfavorable effects) on long term efficiency, how many thousands of able people do we wish to attract into promotional corporate recapitalization activity which (1) reduces corporate income taxes, (2) often tests the limits of antitrust law, and (3) focuses business attention on short-term cash generation to pay down oppressive levels of debt? Finally, as Columbia Law School's Professor Lou Lowenstein puts it (more or

less): "Do we really want entire corporate businesses, as important social institutions, continuously traded like pork belly contracts?"

However the social questions are answered, three aspects of the present situation are clear. First, the corporate tax effect is so large in LBO transactions that easy success in such transactions does not imply that success is easy in ordinary corporate acquisitions. Second, the hordes of leveraged-buy-out operators now with us raise the general level of acquisition prices to the detriment of other would-be acquirers, including Wesco, which are not willing to maximize tax benefits through maximized borrowing. And, third, the LBO operator will not go away so long as present permissive laws last. The operators have a real advantage under such laws, not just a fig leaf aiding promotion. Even though failure and disgrace will reduce their number, and prices paid in leveraged-buy-out transactions will fall, the capitalized value of reducing the corporate income tax will remain. Therefore, plenty of rational incentive will remain for transactions. The LBO genie will encounter reverses, but he is not going back in the bottle unless ordered to do so by new laws.

It should also be noted that the LBO operators' incentives to bid high do not end with real advantages derived from tax law and willingness to reshuffle businesses with much speed and few scruples. Additional incentives for high bids come from typical structures in which general partners of LBO partnerships risk little of their own money (often less than none after fees are taken into account), yet share significantly in gains. Such arrangements are similar to the system of the race track tout. And who has ever seen a tout who didn't want his backer to make a lot of bets?

To Wesco, as a non-LBO operator, the good-corporate-acquisition game was always tough. And that game in each recent year has become more like fishing for muskies at Leech Lake, in Minnesota, where the writer's earliest business partner, Ed Hoskins, had the following conversation with his Indian guide:

"Are any muskies caught in this lake?"

"More muskies are caught in this lake than in any other lake in Minnesota. This lake is famous for muskies."

"How long have you been fishing here?"

"19 years."

"And how many muskies have you caught?"

"None."

When a management has our point of view, infrequency of business acquisition may safely be predicted. Whether this hap-

pens, as we like to believe, because the game is hard for almost everyone, or merely because the game is hard for us, the result for Wesco shareholders is the same: less worthwhile activity than we all would like. But there may be one consolation: A series of big, incorrectable acquisition troubles, with no meaningful salvage, is seldom caused by people who think the acquisition game is like fishing for muskies at Leech Lake.

D. *Sound Acquisition Policies*[41]

It may seem strange that we exult over a year in which we made three acquisitions, given that we have regularly used these pages to question the acquisition activities of most managers. Rest assured, Charlie and I haven't lost our skepticism: We believe most deals do damage to the shareholders of the acquiring company. Too often, the words from *HMS Pinafore* apply: "Things are seldom what they seem, skim milk masquerades as cream." Specifically, sellers and their representatives invariably present financial projections having more entertainment value than educational value. In the production of rosy scenarios, Wall Street can hold its own against Washington.

In any case, why potential buyers even look at projections prepared by sellers baffles me. Charlie and I never give them a glance, but instead keep in mind the story of the man with an ailing horse. Visiting the vet, he said: "Can you help me? Sometimes my horse walks just fine and sometimes he limps." The vet's reply was pointed: "No problem-when he's walking fine, sell him." In the world of mergers and acquisitions, that horse would be peddled as Secretariat.

At Berkshire, we have all the difficulties in perceiving the future that other acquisition-minded companies do. Like they [sic] also, we face the inherent problem that the seller of a business practically always knows far more about it than the buyer and also picks the time of sale-a time when the business is likely to be walking "just fine."

Even so, we do have a few advantages, perhaps the greatest being that we *don't* have a strategic plan. Thus we feel no need to proceed in an ordained direction (a course leading almost invariably to silly purchase prices) but can instead simply decide what makes sense for our owners. In doing that, we always mentally

41 [Divided by hash lines: 1995; 1991 (the latter with similar versions beginning in 1982 and continuting thereafter).]

compare any move we are contemplating with dozens of other opportunities open to us, including the purchase of small pieces of the best businesses in the world via the stock market. Our practice of making this comparison-acquisitions against passive investments-is a discipline that managers focused simply on expansion seldom use.

Talking to *Time Magazine* a few years back, Peter Drucker got to the heart of things: "I will tell you a secret: Dealmaking beats working. Dealmaking is exciting and fun, and working is grubby. Running anything is primarily an enormous amount of grubby detail work . . . dealmaking is romantic, sexy. That's why you have deals that make no sense."

In making acquisitions, we have a further advantage: As payment, we can offer sellers a stock backed by an extraordinary collection of outstanding businesses. An individual or a family wishing to dispose of a single fine business, but also wishing to defer personal taxes indefinitely, is apt to find Berkshire stock a particularly comfortable holding. I believe, in fact, that this calculus played an important part in the two acquisitions for which we paid shares in 1995.

Beyond that, sellers sometimes care about placing their companies in a corporate home that will both endure and provide pleasant, productive working conditions for their managers. Here again, Berkshire offers something special. Our managers operate with extraordinary autonomy. Additionally, our ownership structure enables sellers to know that when I say we are buying to keep, the promise means something. For our part, we like dealing with owners who care what happens to their companies and people. A buyer is likely to find fewer unpleasant surprises dealing with that type of seller than with one simply auctioning off his business.

In addition to the foregoing being an explanation of our acquisition style, it is, of course, a not-so-subtle sales pitch. If you own or represent a business earning $25 million or more before tax, and it fits the criteria [set forth below], just give me a call. Our discussion will be confidential. And if you aren't interested now, file our proposition in the back of your mind: We are never going to lose our appetite for buying companies with good economics and excellent management.

Concluding this little dissertation on acquisitions, I can't resist repeating a tale told me last year by a corporate executive. The business he grew up in was a fine one, with a long-time record of leadership in its industry. Its main product, however, was distress-

ingly glamorless. So several decades ago, the company hired a management consultant who-naturally-advised diversification, the then-current fad. ("Focus" was not yet in style.) Before long, the company acquired a number of businesses, each after the consulting firm had gone through a long-and expensive-acquisition study. And the outcome? Said the executive sadly, "When we started, we were getting 100% of our earnings from the original business. After ten years, we were getting 150%."

It's discouraging to note that though we have on four occasions made major purchases of companies whose sellers were represented by prominent investment banks, we were in only one of these instances contacted by the investment bank. In the other three cases, I myself or a friend initiated the transaction at some point after the investment bank had solicited its own list of prospects. We would love to see an intermediary earn its fee by thinking of us-and therefore repeat here what we're looking for:

(1) Large purchases (at least $10 million of after-tax earnings),
(2) Demonstrated consistent earning power (future projections are of little interest to us, nor are "turnaround" situations),
(3) Businesses earning good returns on equity while employing little or no debt,
(4) Management in place (we can't supply it),
(5) Simple businesses (if there's lots of technology, we won't understand it),
(6) An offering price (we don't want to waste our time or that of the seller by talking, even preliminarily, about a transaction when price is unknown).

We will not engage in unfriendly takeovers. We can promise complete confidentiality and a very fast answer-customarily within five minutes-as to whether we're interested. (With [H.H.] Brown, we didn't even need to take five.) We prefer to buy for cash, but will consider issuing stock when we receive as much in intrinsic business value as we give.

Our favorite form of purchase is one [in which] the company's owner-managers wish to generate significant amounts of cash, sometimes for themselves, but often for their families or inactive shareholders. At the same time, these managers wish to remain significant owners who continue to run their companies just as they have in the past. We think we offer a particularly good fit for own-

ers with such objectives, and we invite potential sellers to check us out by contacting people with whom we have done business in the past.

Charlie and I frequently get approached about acquisitions that don't come close to meeting our tests: We've found that if you advertise an interest in buying collies, a lot of people will call hoping to sell you their cocker spaniels. A line from a country song expresses our feeling about new ventures, turnarounds, or auction-like sales: "When the phone don't ring, you'll know it's me."[42]

Besides being interested in the purchase of businesses as described above, we are also interested in the negotiated purchase of large, but not controlling, blocks of stock comparable to those we hold in Capital Cities, Salomon, Gillette, USAir, Champion, and American Express. We are not interested, however, in receiving suggestions about purchases we might make in the general stockmarket.

E. *On Selling One's Business*[43]

Most business owners spend the better part of their lifetimes building their businesses. By experience built upon endless repetition, they sharpen their skills in merchandising, purchasing, personnel selection, etc. It's a learning process, and mistakes made in one year often contribute to competence and success in succeeding years.

In contrast, owner-managers sell their business only once-frequently in an emotionally-charged atmosphere with a multitude of pressures coming from different directions. Often, much of the pressure comes from brokers whose compensation is contingent upon consummation of a sale, regardless of its consequences for both buyer and seller. The fact that the decision is so important, both financially and personally, to the owner can make the process more, rather than less, prone to error. And, mistakes made in the once-in-a-lifetime sale of a business are not reversible.

Price is very important, but often is not the most critical aspect of the sale. You and your family have an extraordinary business-one of a kind in your field-and any buyer is going to recognize that. It's also a business that is going to get more valuable as the years go by. So if you decide not to sell now, you are very likely to

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42 [In 1988 and 1989, the last sentence read: "Our interest in new ventures, turnarounds, or auction-like sales can best be expressed by the Goldwynism: 'Please include me out.'"]

43 [1990 Appendix B-form of letter sent to potential sellers of businesses.]

realize more money later on. With that knowledge you can deal from strength and take the time required to select the buyer you want.

If you should decide to sell, I think Berkshire Hathaway offers some advantages that most other buyers do not. Practically all of these buyers will fall into one of two categories:

(1) A company located elsewhere but operating in your business or in a business somewhat akin to yours. Such a buyer-no matter what promises are made-will usually have managers who feel they know how to run your business operations and, sooner or later, will want to apply some hands-on "help." If the acquiring company is much larger, it often will have squads of managers, recruited over the years in part by promises that they will get to run future acquisitions. They will have their own way of doing things and, even though your business record undoubtedly will be far better than theirs, human nature will at some point cause them to believe that their methods of operating are superior. You and your family probably have friends who have sold their businesses to larger companies, and I suspect that their experiences will confirm the tendency of parent companies to take over the running of their subsidiaries, particularly when the parent knows the industry, or thinks it does.

(2) A financial maneuverer, invariably operating with large amounts of borrowed money, who plans to resell either to the public or to another corporation as soon as the time is favorable. Frequently, this buyer's major contribution will be to change accounting methods so that earnings can be presented in the most favorable light just prior to his bailing out. . . . [T]his sort of transaction . . . is becoming much more frequent because of a rising stock market and the great supply of funds available for such transactions.

If the sole motive of the present owners is to cash their chips and put the business behind them-and plenty of sellers fall in this category-either type of buyer that I've just described is satisfactory. But if the sellers' business represents the creative work of a lifetime and forms an integral part of their personality and sense of being, buyers of either type have serious flaws.

Berkshire is another kind of buyer-a rather unusual one. We buy to keep, but we don't have, and don't expect to have, operating people in our parent organization. All of the businesses we own are run autonomously to an extraordinary degree. In most cases, the managers of important businesses we have owned for many

years have not been to Omaha or even met each other. When we buy a business, the sellers go on running it just as they did before the sale; we adapt to their methods rather than vice versa.

We have no one-family, recently recruited MBAs, etc.-to whom we have promised a chance to run businesses we have bought from owner-managers. And we won't have.

You know of some of our past purchases. I'm enclosing a list of everyone from whom we have ever bought a business, and I invite you to check with them as to our performance versus our promises. You should be particularly interested in checking with the few whose businesses did not do well in order to ascertain how we behaved under difficult conditions.

Any buyer will tell you that he needs you personally-and if he has any brains, he most certainly does need you. But a great many buyers, for the reasons mentioned above, don't match their subsequent actions to their earlier words. We will behave exactly as promised, both because we have so promised, and because we need to in order to achieve the best business results.

This need explains why we would want the operating members of your family to retain a 20% interest in the business. We need 80% to consolidate earnings for tax purposes, which is a step important to us. It is equally important to us that the family members who run the business remain as owners. Very simply, we would not want to buy unless we felt key members of present management would stay on as our partners. Contracts cannot guarantee your continued interest; we would simply rely on your word.

The areas I get involved in are capital allocation and selection and compensation of the top man. Other personnel decisions, operating strategies, etc. are his bailiwick. Some Berkshire managers talk over some of their decisions with me; some don't. It depends upon their personalities and, to an extent, upon their own personal relationship with me.

If you should decide to do business with Berkshire, we would pay in cash. Your business would not be used as collateral for any loan by Berkshire. There would be no brokers involved.

Furthermore, there would be no chance that a deal would be announced and that the buyer would then back off or start suggesting adjustments (with apologies, of course, and with an explanation that banks, lawyers, boards of directors, etc. were to be blamed). And finally, you would know exactly with whom you are dealing. You would not have one executive negotiate the deal only to have someone else in charge a few years later, or have the presi-

dent regretfully tell you that his board of directors required this change or that (or possibly required sale of your business to finance some new interest of the parent's).

It's only fair to tell you that you would be no richer after the sale than now. The ownership of your business already makes you wealthy and soundly invested. A sale would change the form of your wealth, but it wouldn't change its amount. If you sell, you will have exchanged a 100%-owned valuable asset that you understand for another valuable asset-cash-that will probably be invested in small pieces (stocks) of other businesses that you understand less well. There is often a sound reason to sell but, if the transaction is a fair one, the reason is not so that the seller can become wealthier.

I will not pester you; if you have any possible interest in selling, I would appreciate your call. I would be extraordinarily proud to have Berkshire, along with the key members of your family, own _____; I believe we would do very well financially; and I believe you would have just as much fun running the business over the next 20 years as you have had during the past 20.

Sincerely,

/s/ Warren E. Buffett

V. ACCOUNTING AND TAXATION

To those of you who are uninterested in accounting, I apologize for this dissertation. I realize that many of you do not pore over our figures, but instead hold Berkshire primarily because you know that: (1) Charlie and I have the bulk of our money in Berkshire; (2) we intend to run things so that your gains or losses are in direct proportion to ours; (3) the record has so far been satisfactory. There is nothing necessarily wrong with this kind of "faith" approach to investing. Other shareholders, however, prefer an "analysis" approach and we want to supply the information they need. In our own investing, we search for situations in which both approaches give us the same answer.[44]

A. *A Satire on Accounting Shenanigans*[45]

*u.S. STEEL ANNOUNCES SWEEPING MODERNIZATION SCHEME**

Myron C. Taylor, Chairman of U.S. Steel Corporation, today announced the long awaited plan for completely modernizing the world's largest industrial enterprise. Contrary to expectations, no changes will be made in the company's manufacturing or selling policies. Instead, the bookkeeping system is to be entirely revamped. By adopting and further improving a number of modern accounting and financial devices the corporation's earning power will be amazingly transformed. Even under the subnormal conditions of 1935, it is estimated that the new bookkeeping methods would have yielded a reported profit of close to $50 per share on the common stock. The scheme of improvement is the result of a comprehensive survey made by Messrs. Price, Bacon, Guthrie & Colpitts; it includes the following six points:

1. Writing down of Plant Account to Minus $1,000,000,000.
2. Par Value of Common Stock to be reduced to 1¢.
3. Payment of all wages and salaries in option warrants.
4. Inventories to be carried at $1.
5. Preferred Stock to be replaced by non-interest bearing bonds redeemable at 50% discount.
6. A $1,000,000,000 Contingency Reserve to be established.

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44 [Introductory paragraph, 1988.]

45 [1990 Appendix A.]

* An unpublished satire by Ben Graham, written in 1936 and given by the author to Warren Buffett in 1954.

The official statement of this extraordinary Modernization Plan follows in full:

The Board of Directors of U.S. Steel Corporation is pleased to announce that after intensive study of the problems arising from changed conditions in the industry, it has approved a comprehensive plan for remodeling the Corporation's accounting methods. A survey by a Special Committee, aided and abetted by Messrs. Price, Bacon, Guthrie & Colpitts, revealed that our company has lagged somewhat behind other American business enterprises in utilizing certain advanced bookkeeping methods, by means of which the earning power may be phenomenally enhanced without requiring any cash outlay or any changes in operating or sales conditions. It has been decided not only to adopt these newer methods, but to develop them to a still higher stage of perfection. The changes adopted by the Board may be summarized under six heads, as follows:

1. Fixed Assets to be written down to *Minus $1,000,000,000.*

Many representative companies have relieved their income accounts of all charges for depreciation by writing down their plant account to $1. The Special Committee points out that if their plants are worth only $1, the fixed assets of U.S. Steel Corporation are worth a good deal less than that sum. It is now a well-recognized fact that many plants are in reality a liability rather than an asset, entailing not only depreciation charges, but taxes, maintenance, and other expenditures. Accordingly, the Board has decided to extend the write-down policy initiated in the 1935 report, and to mark down the Fixed Assets from $1,338,522,858.96 to a round *Minus $1,000,000,000.*

The advantages of this move should be evident. As the plant wears out, the liability becomes correspondingly reduced. Hence, instead of the present depreciation charge of some $47,000,000 yearly there will be an annual *appreciation credit* of 5%, or $50,000,000. This will increase earnings by no less than $97,000,000 per annum.

2. Reduction of Par Value of Common Stock to 1¢, and

3. Payment of Salaries and Wages in Option Warrants.

Many corporations have been able to reduce their overhead expenses substantially by paying a large part of their executive salaries in the form of options to buy stock, which carry no charge against earnings. The full possibilities of this modem device have

apparently not been adequately realized. The Board of Directors have adopted the following advanced form of this idea:

The entire personnel of the Corporation are to receive their compensation in the form of rights to buy common stock at $50 per share, at the rate of one purchase right for each $50 of salary and! or wages in their present amounts. The par value of the common stock is to be reduced to 1¢.

The almost incredible advantages of this new plan are evident from the following:

A. The payroll of the Corporation will be entirely eliminated, a saving of $250,000,000 per annum, based on 1935 operations.

B. At the same time, the effective compensation of all our employees will be increased severalfold. Because of the large earnings per share to be shown on our common stock under the new methods, it is certain that the shares will command a price in the market far above the option level of $50 per share, making the readily realizable value of these option warrants greatly in excess of the present cash wages that they will replace.

C. The Corporation will realize an additional large annual profit through the exercise of these warrants. Since the par value of the common stock will be fixed at 1¢, there will be a gain of $49.99 on each share subscribed for. In the interest of conservative accounting, however, this profit will not be included in the income account, but will be shown separately as a credit to Capital Surplus.

D. The Corporation's cash position will be enormously strengthened. In place of the present annual cash *outgo* of $250,000,000 for wages (1935 basis), there will be annual cash *inflow* of $250,000,000 through exercise of the subscription warrants for 5,000,000 shares of common stock. The Company's large earnings and strong cash position will permit the payment of a liberal dividend which, in turn, will result in the exercise of these option warrants immediately after issuance which, in turn, will further improve the cash position which, in turn, will permit a higher dividend rate-and so on, indefinitely.

4. Inventories to be carried at $1.

Serious losses have been taken during the depression due to the necessity of adjusting inventory value to market. Various enterprises-notably in the metal and cotton-textile fields-have successfully dealt with this problem by carrying all or part of their inventories at extremely low unit prices. The U.S. Steel Corpora-

tion has decided to adopt a still more progressive policy~ and to carry its entire inventory at $1. This will be effected by an appropriate write-down at the end of each year, the amount of ,said write-down to be charged to the Contingency Reserve hereinafter referred to.

The benefits to be derived from this new method are very great. Not only will it obviate all possibility of inventory depreciation, but it will substantially enhance the annual earnings of the Corporation. The inventory on hand at the beginning of the year, valued at $1, will be sold during the year at an excellent profit. It is estimated that our income will be increased by means of this method to the extent of at least $150,000,000 per annum which, by a coincidence, will about equal the amount of the write-down to be made each year against Contingency Reserve.

A minority report of the Special Committee recommends that Accounts Receivable and Cash also be written down to $1, in the interest of consistency and to gain additional advantages similar to those just discussed. This proposal has been rejected for the time being because our auditors still require that any recoveries of receivables and cash so charged off be credited to surplus instead of to the year's income. It is expected, however, that this auditing rule-which is rather reminiscent of the horse-and-buggy days-will soon be changed in line with modern tendencies. Should this occur, the minority report will be given further and favorable consideration.

5. Replacement of Preferred Stock by Non-Interest Bearing Bonds Redeemable at 50% Discount.

During the recent depression many companies have been able to offset their operating losses by including in income profits arising from repurchases of their own bonds at a substantial discount from par. Unfortunately the credit of U.S. Steel Corporation has always stood so high that this lucrative source of revenue has not hitherto been available to it. The Modernization Scheme will remedy this condition.

It is proposed that each share of preferred stock be exchanged for $300 face value of non-interest-bearing sinking-fund notes, redeemable by lot at 50% of face value in 10 equal annual installments. This will require the issuance of $1,080,000,000 of new notes, of which $108,000,000 will be retired each year at a cost to the Corporation of only $54,000,000, thus creating an annual profit of the same amount.

, Like the wage-and/or-salary plan described under 3. above, this' arrangement will benefit both the Corporation and its preferred stockholders. The latter are assured payment for their present shares at 150% of par value over an average period of five years. Since short-term securities yield practically no return at present, the non-interest-bearing feature is of no real importance. The Corporation will convert its present annual *charge* of $25,000,000 for preferred dividends into an annual bond-retirement *profit* of $54,000,000-an aggregate yearly gain of $79,000,000.

6. Establishment of a Contingency Reserve of $1,000,000,000.

The Directors are confident that the improvements hereinbefore described will assure the Corporation of a satisfactory earning power under all conditions in the future. Under modem accounting methods, however, it is unnecessary to incur the slightest risk of loss through adverse business developments of any sort, since all these may be provided for in advance by means of a Contingency Reserve.

The Special Committee has recommended that the Corporation create such a Contingency Reserve in the fairly substantial amount of $1,000,000,000. As previously set forth, the annual write-down of inventory of $1 will be absorbed by this reserve. To prevent eventual exhaustion of the Contingency Reserve, it has been further decided that it be replenished each year by transfer of an appropriate sum from Capital Surplus. Since the latter is expected to increase each year by not less than $250,000,000 through the exercise of the Stock Option Warrants (see 3. above), it will readily make good any drains on the Contingency Reserve.

In setting up this arrangement, the Board of Directors must confess regretfully that they have been unable to improve upon the devices already employed by important corporations in transferring large sums between Capital, Capital Surplus, Contingency Reserves and other Balance Sheet Accounts. In fact, it must be admitted that our entries will be somewhat too simple, and will lack that element of extreme mystification that characterizes the most advanced procedure in this field. The Board of Directors, however, have insisted upon clarity and simplicity in framing their Modernization Plan, even at the sacrifice of possible advantage to the Corporation's earning power.

In order to show the combined effect for the new proposals upon the Corporation's earning power, we submit herewith a condensed Income Account for 1935 on two bases, viz:

	A. As Reported	B. Pro-Forma Giving Effect to Changes Proposed Herewith
Gross Receipts from all Sources (Including Inter Company)	$765,000,000	$765,000,000
Salaries and Wages	251,000,000	
Other Operating Expenses and Taxes	461,000,000	311,000,000
DepreciatIon	47,000,000	(50,000,000)
Interest	5,000,000	5,000,000
Discount on Bonds Retired		(54,000,000)
Preferred Dividends	25,000,000	
Balance for Common	(24,000,000)	553,000,000
Average Shares Outstanding	8,703,252	11,203,252
Earned Per Share	($2.76)	$49.80

In accordance with a somewhat antiquated custom there is appended herewith a condensed pro-forma Balance Sheet of the U.S. Steel Corporation as of December 31, 1935, after giving effect to proposed changes in asset and liability accounts.

ASSETS

Fixed Assets, net	($1,000,000,000)
Cash Assets	142,000,000
Receivables	56,000,000
Inventory	1
Miscellaneous Assets	27,000,000
Total	($774,999,999)

LIABILITIES

Common Stock Par 1¢ (Par Value $87,032.52) Stated Value*	($3,500,000,000)
Subsidiaries' Bonds and Stocks	113,000,000
New Sinking Fund Notes	1,080,000,000
Current Liabilities	69,000,000
Contingency Reserve	1,000,000,000
Other Reserves	74,000,000
Initial Surplus	389,000,001
Total	($774,999,999)

*Given a Stated Value differing from Par Value, in accordance with the laws of the State of Virginia, where the company will be re-incorporated.

It is perhaps unnecessary to point out to our stockholders that modern accounting methods give rise to balance sheets differing somewhat in appearance from those of a less advanced period. In view of the very large earning power that will result from these

changes in the Corporation's Balance Sheet, it is not expected that undue attention will be paid to the details of assets and liabilities.

In conclusion, the Board desires to point out that the combined procedure, whereby plant will be carried at a minus figure, our wage bill will be eliminated, and inventory will stand on our books at virtually nothing, will give U.S. Steel Corporation an enormous competitive advantage in the industry. We shall be able to sell our products at exceedingly low prices and still show a handsome margin of profit. It is the considered view of the Board of Directors that under the Modernization Scheme we shall be able to undersell all competitors to such a point that the anti-trust laws will constitute the only barrier to 100% domination of the industry.

In making this statement, the Board is not unmindful of the possibility that some of our competitors may seek to offset our new advantages by adopting similar accounting improvements. We are confident, however, that U.S. Steel will be able to retain the loyalty of its customers, old and new, through the unique prestige that will accrue to it as the originator and pioneer in these new fields of service to the user of steel. Should necessity arise, moreover, we believe we shall be able to maintain our deserved superiority by introducing still more advanced bookkeeping methods, which are even now under development in our Experimental Accounting Laboratory.

B. *Look-Through Earnings*[46]

When one company owns part of another company, appropriate accounting procedures pertaining to that ownership interest must be selected from one of three major categories. The percentage of voting stock that is owned, in large part, determines which category of accounting principles should be utilized.

Generally accepted accounting principles require (subject to exceptions, naturally . . .) full consolidation of sales, expenses, taxes, and earnings of business holdings more than 50% owned. Blue Chip Stamps, 60% owned by Berkshire Hathaway Inc., falls into this category. Therefore, all Blue Chip income and expense items are included in full in Berkshire's Consolidated Statement of Earnings, with the 40% ownership interest of others in Blue Chip's net earnings reflected in the Statement as a deduction for "minority interest".

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46 [Divided by hash lines: 1980; 1990; 1982; 1991, 1979.]

Full inclusion of underlying earnings from another class of holdings, companies owned 20% to 50% (usually called "investees"), also normally occurs. Earnings from such companies-.for example, Wesco Financial, controlled by Berkshire but only 48% owned-are included via a one-line entry in the owner's Statement of Earnings. Unlike the over-50% category, all items of revenue and expense are omitted; just the proportional share of net income is included. Thus, if Corporation A owns one-third of Corporation B, one-third of B's earnings, whether or not distributed by B, will end up in A's earnings. There are some modifications, both in this and the over-50% category, for intercorporate taxes and purchase price adjustments, the explanation of which we will save for a later day. (We know you can hardly wait.)

Finally come holdings representing less than 20% ownership of another corporation's voting securities. In these cases, accounting rules dictate that the owning companies include in their earnings only dividends received from such holdings. Undistributed earnings are ignored. Thus, should we own 10% of Corporation X with earnings of $10 million in 1980, we would report in our earnings (ignoring relatively minor taxes on intercorporate dividends) either (a) $1 million if X declared the full $10 million in dividends; (b) $500,000 if X paid out 50%, or $5 million, in dividends; or (c) zero if X reinvested all earnings.

We impose this short-and over-simplified-course in accounting upon you because Berkshire's concentration of resources in the insurance field produces a corresponding concentration of its assets in companies in that third (less than 20% owned) category. Many of these companies payout relatively small proportions of their earnings in dividends. This means that only a small proportion of their current earning power is recorded in our own current operating earnings. But, while our reported operating earnings reflect only the dividends received from such companies, our economic well-being is determined by their earnings, not their dividends.

Our holdings in this third category of companies have increased dramatically in recent years as our insurance business has prospered and as securities markets have presented particularly attractive opportunities in the common stock area. The large increase in such holdings, plus the growth of earnings experienced by those partially-owned companies, has produced an unusual result; the part of "our" earnings that these companies retained last year (the part not paid to us in dividends) exceeded the total reported

annual operating earnings of Berkshire Hathaway. Thus, conventional accounting only allows less than half of our earnings "iceberg" to appear above the surface, in plain view. Within the corporate world such a result is quite rare; in our case it is likely to be recurring.

Our own analysis of earnings reality differs somewhat from generally accepted accounting principles, particularly when those principles must be applied in a world of high and uncertain rates of inflation. (But it's much easier to criticize than to improve such accounting rules. The inherent problems are monumental.) We have owned 100% of businesses whose reported earnings were not worth close to 100 cents on the dollar to us even though, in an accounting sense, we totally controlled their disposition. (The "control" was theoretical. Unless we reinvested all earnings, massive deterioration in the value of assets already in place would occur. But those reinvested earnings had no prospect of earning anything close to a market return on capital.) We have also owned small fractions of businesses with extraordinary reinvestment possibilities whose retained earnings had an economic value to us far in excess of 100 cents on the dollar.

The value to Berkshire Hathaway of retained earnings is not determined by whether we own 100%, 50%, 20% or 1% *of the businesses in which they reside. Rather, the value of those retained earnings is determined by the use to which they are put and the subsequent level of earnings produced by that usage.* This is true whether we determine the usage, or whether managers we did not hire-but did elect to join-determine that usage. (It's the act that counts, not the actors.) And the value is in no way affected by the inclusion or non-inclusion of those retained earnings in our own reported operating earnings. If a tree grows in a forest partially owned by us, but we don't record the growth in our financial statements, we still own part of the tree.

Our view, we warn you, is non-conventional. But we would rather have earnings for which we did not get accounting credit put to good use in a 10%-owned company by a management we did not personally hire, than have earnings for which we did get credit put into projects of more dubious potential by another management-even if we are that management.

(We can't resist pausing here for a short commercial. One usage of retained earnings we often greet with special enthusiasm when practiced by companies in which we have an investment interest is repurchase of their own shares. The reasoning is simple: if

a fine business is selling in the market place for far less than intrinsic value, what more certain or more profitable utilization of capital can there be than significant enlargement of the interests of all owners at that bargain price? The competitive nature of corporate acquisition activity almost guarantees the payment of a full-frequently more than full-price when a company buys the entire ownership of another enterprise. But the auction nature of security markets often allows finely-run companies the opportunity to purchase portions of their own businesses at a price under 50% of that needed to acquire the same earning power through the negotiated acquisition of another enterprise.)

The term "earnings" has a precise ring to it. And when an earnings figure is accompanied by an unqualified auditor's certificate, a naive reader might think it comparable in certitude to 1t, calculated to dozens of decimal places.

In reality, however, earnings can be as pliable as putty when a charlatan heads the company reporting them. Eventually truth will surface, but in the meantime a lot of money can change hands. Indeed, some important American fortunes have been created by the monetization of accounting mirages.

Funny business in accounting is not new. For connoisseurs of chicanery, [consider the foregoing satire written by Ben Graham in 1936]. Alas, excesses similar to those he then lampooned have many times since found their way into the financial statements of major American corporations and been duly certified by big-name auditors. Clearly, investors must always keep their guard up and use accounting numbers as a beginning, not an end, in their attempts to calculate true "economic earnings" accruing to them.

Berkshire's own reported earnings are misleading in a different, but important, way: We have huge investments in companies ("investees") whose earnings far exceed their dividends and in which we record our share of earnings only to the extent of the dividends we receive. The extreme case is Capital *Cities*/ABC, Inc. Our 17% share of the company's earnings amounted to more than $83 million last year. Yet only about $530,000 ($600,000 of dividends it paid us less some $70,000 of tax) is counted in Berkshire's GAAP earnings. The residual $82 million-plus stayed with Cap Cities as retained earnings, which work for our benefit but go unrecorded on our books.

Our perspective on such "forgotten-but-not-gone" earnings is simple: The way they are accounted for is of no importance, but

their ownership and subsequent utilization is all-important. We care not whether the auditors hear a tree fall in the forest; we do care who owns the tree and what's next done with it.

When Coca-Cola uses retained earnings to repurchase its shares, the company increases our percentage ownership in what I regard to be the most valuable franchise in the world. (Coke also, of course, uses retained earnings in many other value-enhancing ways.) Instead of repurchasing stock, Coca-Cola could pay those funds to us in dividends, which we could then use to purchase more Coke shares. That would be a less efficient scenario: Because of taxes we would pay on dividend income, we would not be able to increase our proportionate ownership to the degree that Coke can, acting for us. If this less efficient procedure were followed, however, Berkshire would report far greater "earnings."

I believe the best way to think about our earnings is in terms of "look-through" results, calculated as follows: Take $250 million, which is roughly our share of the 1990 operating earnings retained by our investees; subtract $30 million, for the incremental taxes we would have owed had that $250 million been paid to us in dividends; and add the remainder, $220 million, to our reported operating earnings of $371 million. Thus our 1990 "look-through earnings" were about $590 million.

In our view, the value to all owners of the retained earnings of a business enterprise is determined by the effectiveness with which those earnings are used-and not by the size of one's ownership percentage. If you have owned .01 of 1% of Berkshire during the past decade, you have benefited economically in full measure from your share of our retained earnings, no matter what your accounting system. Proportionately, you have done just as well as if you had owned the magic 20%. But if you have owned 100% of a great many capital-intensive businesses during the decade, retained earnings that were credited fully and with painstaking precision to you under standard accounting methods have resulted in minor or zero economic value. This is not a criticism of accounting procedures. We would not like to have the job of designing a better system. It's simply to say that managers and investors alike must understand that accounting numbers are the beginning, not the end, of business valuation.

In most corporations, less-than-20% ownership positions are unimportant (perhaps, in part, because they prevent maximization of cherished reported earnings) and the distinction between ac-

counting and economic results we have just discussed matters little. But in our own case, such positions are of very large and growing importance. Their magnitude, we believe, is what makes our reported operating earnings figure of limited significance.

Within [the] gigantic auction arena [composed of the entire array of major American corporations], it is our job to select businesses with economic characteristics allowing each dollar of retained earnings to be translated eventually into at least a dollar of market value. Despite a lot of mistakes, we have so far achieved this goal. In doing so, we have been greatly assisted by Arthur Okun's patron saint for economists-St. Offset. In some cases, that is, retained earnings attributable to our ownership position have had insignificant or even negative impact on market value, while in other major positions a dollar retained by an investee corporation has been translated into two or more dollars of market value. To date, our corporate over-achievers have more than offset the laggards. If we can continue this record, it will validate our efforts to maximize "economic" earnings, regardless of the impact upon "accounting" earnings.

We also believe that investors can benefit by focusing on their own look-through earnings. To calculate these, they should determine the underlying earnings attributable to the shares they hold in their portfolio and total these. The goal of each investor should be to create a portfolio (in effect, a "company") that will deliver him or her the highest possible look-through earnings a decade or so from now.

An approach of this kind will force the investor to think about long-term business prospects rather than short-term stock market prospects, a perspective likely to improve results. It's true, of course, that, in the long run, the scoreboard for investment decisions is market price. But prices will be determined by future earnings. In investing, just as in baseball, to put runs on the scoreboard one must watch the playing field, not the scoreboard.

The primary test of managerial economic performance is the achievement of a high earnings rate on equity capital employed (without undue leverage, accounting gimmickry, etc.) and not the achievement of consistent gains in earnings per share. In our view, many businesses would be better understood by their shareholder owners, as well as the general public, if managements and financial

analysts modified the primary emphasis they place upon earnings per share, and upon yearly changes in that figure.

C. *Economic Goodwill Versus Accounting Goodwill*[47]

[O]ur intrinsic business value considerably exceeds book value. There are two major reasons:

(1) Standard accounting principles require that common stocks held by our insurance subsidiaries be stated on our books at market value, but that other stocks we own be carried at the lower of aggregate cost or market. At the end of 1983, the market value of this latter group exceeded carrying value by $70 million pre-tax, or about $50 million after tax. This excess belongs in our intrinsic business value, but is not included in the calculation of book value;

(2) More important, we own several businesses that possess economic Goodwill (which is properly includable in intrinsic business value) far larger than the accounting Goodwill that is carried on our balance sheet and reflected in book value.

You can live a full and rewarding life without ever thinking about Goodwill and its amortization. But students of investment and management should understand the nuances of the subject. My own thinking has changed drastically from 35 years ago when I was taught to favor tangible assets and to shun businesses whose value depended largely upon economic Goodwill. This bias caused me to make many important business mistakes of omission, although relatively few of commission.

Keynes identified my problem: "The difficulty lies not in the new ideas but in escaping from the old ones." My escape was long delayed, in part because most of what I had been taught by the same teacher had been (and continues to be) so extraordinarily valuable. Ultimately, business experience, direct and vicarious, produced my present strong preference for businesses that possess large amounts of enduring Goodwill and that utilize a minimum of tangible assets.

I recommend the [following essay] to those who are comfortable with accounting terminology and who have an interest in understanding the business aspects of Goodwill. Whether or not you

47 [Divided by hash lines: 1983; 1983 Appendix; 1996 Owner's Manual.]

wish to tackle the [essay] you should be aware that Charlie and I believe that Berkshire possesses very significant economic Goodwill value above that reflected in our book value.

[The following discussion] deals only with economic and accounting Goodwill-not the goodwill of everyday usage. For example, a business may be well liked, even loved, by most of its customers but possess no economic goodwill. (AT&T, before the breakup, was generally well thought of, but possessed not a dime of economic Goodwill.) And, regrettably, a business may be disliked by its customers but possess substantial, and growing economic Goodwill. So, just for the moment, forget emotions and focus only on economics and accounting.

When a business is purchased, accounting principles require that the purchase price first be assigned to the fair value of the identifiable assets that are acquired. Frequently the sum of the fair values put on the assets (after the deduction of liabilities) is less than the total purchase price of the business. In that case, the difference is assigned to an asset entitled "excess of cost over equity in net assets acquired". To avoid constant repetition of this mouthful, we will substitute "Goodwill."

Accounting Goodwill arising from businesses purchased before November 1970 has a special standing. Except under rare circumstances, it can remain an asset on the balance sheet as long as the business bought is retained. That means no amortization charges to gradually extinguish that asset need be made against earnings.

The case is different, however, with purchases made from November 1970 on. When these create Goodwill, it must be amortized over not more than 40 years through charges-of equal amount in every year-to the earnings account. Since 40 years is the maximum period allowed, 40 years is what managements (including us) usually elect. This annual charge to earnings is not allowed as a tax deduction and, thus, has an effect on after-tax income that is roughly double that of most other expenses.[48]

That's how accounting Goodwill works. To see how it differs from economic reality, let's look at an example elose at hand. We'll round some figures, and greatly oversimplify, to make the example easier to follow. We'll also mention some implications for investor and manager.

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48 [The tax rule has changed. *See* I.R.c. § 197.]

Blue Chip Stamps bought See's early in 1972 for $25 million, at which time See's had about $8 million of net tangible assets. (Throughout this discussion, accounts receivable will be classified as tangible assets, a definition proper for business analysis.) This level of tangible assets was adequate to conduct the business without use of debt, except for short periods seasonally. See's was earning about $2 million after tax at the time, and such earnings seemed conservatively representative of future earning power in constant 1972 dollars.

Thus our first lesson: businesses logically are worth far more than net tangible assets when they can be expected to produce earnings on such assets considerably in excess of market rates of return. The capitalized value of this excess return is economic Goodwill.

In 1972 (and now) relatively few businesses could be expected to consistently earn the 25% after tax on net tangible assets that was earned by See's-doing it, furthermore, with conservative accounting and no financial leverage. It was not the fair market value of the inventories, receivables or fixed assets that produced the premium rates of return. Rather it was a combination of intangible assets, particularly a pervasive favorable reputation with consumers based upon countless pleasant experiences they have had with both product and personnel.

Such a reputation creates a consumer franchise that allows the value of the product to the purchaser, rather than its production cost, to be the major determinant of selling price. Consumer franchises are a prime source of economic Goodwill. Other sources include governmental franchises not subject to profit regulation, such as television stations, and an enduring position as the low cost producer in an industry.

Let's return to the accounting in the See's example. Blue Chip's purchase of See's at $17 million over net tangible assets required that a Goodwill account of this amount be established as an asset on Blue Chip's books and that $425,000 be charged to income annually for 40 years to amortize that asset. By 1983, after 11 years of such charges, the $17 million had been reduced to about $12.5 million. Berkshire, meanwhile, owned 60% of Blue Chip and, therefore, also 60% of See's. This ownership meant that Berkshire's balance sheet reflected 60% of See's Goodwill, or about $7.5 million.

In 1983 Berkshire acquired the rest of Blue Chip in a merger that required purchase accounting as contrasted to the "pooling"

treatment allowed for some mergers. Under purchase accounting, the "fair value" of the shares we gave to (or "paid") Blue Chip holders had to be spread over the net assets acquired from Blue Chip. This "fair value" was measured, as it almost always is when public companies use their shares to make acquisitions, by the market value of the shares given up.

The assets "purchased" consisted of 40% of everything owned by Blue Chip (as noted, Berkshire already owned the other 60%). What Berkshire "paid" was more than the net identifiable assets we received by $51.7 million, and was assigned to two pieces of Goodwill: $28.4 million to See's and $23.3 million to Buffalo Evening News.

After the merger, therefore, Berkshire was left with a Goodwill asset for See's that had two components: the $7.5 million remaining from the 1971 purchase, and $28.4 million newly created by the 40% "purchased" in 1983. Our amortization charge now will be about $1.0 million for the next 28 years, and $.7 million for the following 12 years, 2002 through 2013.

In other words, different purchase dates and prices have given us vastly different asset values and amortization charges for two pieces of the same asset. (We repeat our usual disclaimer: we have no better accounting system to suggest. The problems to be dealt with are mind boggling and require arbitrary rules.)

But what are the economic realities? One reality is that the amortization charges that have been deducted as costs in the earnings statement each year since acquisition of See's were not true economic costs. We know that because See's last year earned $13 million after taxes on about $20 million of net tangible assets-a performance indicating the existence of economic Goodwill far larger than the total original cost of our accounting Goodwill. In other words, while accounting Goodwill regularly decreased from the moment of purchase, economic Goodwill increased in irregular but very substantial fashion.

Another reality is that annual amortization charges in the future will not correspond to economic costs. It is possible, of course, that See's economic Goodwill will disappear. But it won't shrink in even decrements or anything remotely resembling them. What is more likely is that the Goodwill will increase-in current, if not in constant, dollars-because of inflation.

That probability exists because true economic Goodwill tends to rise in nominal value proportionally with inflation. To illustrate how this works, let's contrast a See's kind of business with a more

mundane business. When we purchased See's in 1972, it will be recalled, it was earning about $2 million on $8 million of net tangible assets. Let us assume that our hypothetical mundane business then had $2 million of earnings also, but needed $18 million in net tangible assets for normal operations. Earning only 11% on required tangible assets, that mundane business would possess little or no economic Goodwill.

A business like that, therefore, might well have sold for the value of its net tangible assets, or for $18 million. In contrast, we paid $25 million for See's, even though it had no more in earnings and less than half as much in "honest-to-God" assets. Could less really have been more, as our purchase price implied? The answer is *"yes"-even if both businesses were expected to have fiat unit volume-as* long as you anticipated, as we did in 1972, a world of continuous inflation.

To understand why, imagine the effect that a doubling of the price level would subsequently have on the two businesses. Both would need to double their nominal earnings to $4 million to keep themselves even with inflation. This would seem to be no great trick: just sell the same number of units at double earlier prices and, assuming profit margins remain unchanged, profits also must double.

But, crucially, to bring that about, both businesses probably would have to double their nominal investment in net tangible assets, since that is the kind of economic requirement that inflation usually imposes on businesses, both good and bad. A doubling of dollar sales means correspondingly more dollars must be employed immediately in receivables and inventories. Dollars employed in fixed assets will respond more slowly to inflation, but probably just as surely. And all of this inflation-required investment will produce no improvement in rate of return. The motivation for this investment is the survival of the business, not the prosperity of the owner.

Remember, however, that See's had net tangible assets of only $8 million. So it would only have had to commit an additional $8 million to finance the capital needs imposed by inflation. The mundane business, meanwhile, had a burden over twice as large-a need for $18 million of additional capital.

After the dust had settled, the mundane business, now earning $4 million annually, might still be worth the value of its tangible assets, or $36 million. That means its owners would have gained only a dollar of nominal value for every new dollar invested. (This

is the same dollar-for-dollar result they would have achieved if they had added money to a savings account.)

See's, however, also earning $4 million, might be worth $50 million *if* valued (as *it logically would* be) on *the same basis* as *it* was at the *time* of our purchase. So it *would* have *gained* $25 *million* in nominal value while the owners were putting up only $8 million in additional capital-over $3 of nominal value gained for each $1 invested.

Remember, even so, that the owners of the See's kind of business were forced by inflation to ante up $8 million in additional capital just to stay even in real profits. Any unleveraged business that requires some net tangible assets to operate (and almost all do) is hurt by inflation. Businesses needing little in the way of tangible assets simply are hurt the least.

And that fact, of course, has been hard for many people to grasp. For years the traditional wisdom-long on tradition, short on wisdom-held that inflation protection was best provided by businesses laden with natural resources, plants and machinery, or other tangible assets ("In Goods We Trust"). It doesn't work that way. Asset-heavy businesses generally earn low rates of return-rates that often barely provide enough capital to fund the inflationary needs of the existing business, with nothing left over for real growth, for distribution to owners, or for acquisition of new businesses.

In contrast, a disproportionate number of the great business fortunes built up during the inflationary years arose from ownership of operations that combined intangibles of lasting value with relatively minor requirements for tangible assets. In such cases earnings have bounded upward in nominal dollars, and these dollars have been largely available for the acquisition of additional businesses. This phenomenon has been particularly evident in the communications business. That business has required little in the way of tangible investment-yet its franchises have endured. During inflation, Goodwill is the gift that keeps giving.

But that statement applies, naturally, only to true economic Goodwill. Spurious accounting Goodwill-and there is plenty of it around-is another matter. When an overexcited management purchases a business at a silly price, the same accounting niceties described earlier are observed. Because it can't go anywhere else, the silliness ends up in the Goodwill account. Considering the lack of managerial discipline that created the account, under such circumstances it might better be labeled "No-Will". Whatever the

term, the 40-year *ritual typically* is observed and the *adrenalin* so capitalized remains on the books as an "asset" just as if the acquisition had been a sensible one.

* * * * *

If you cling to any belief that accounting treatment of Goodwill is the best measure of economic reality, I suggest one final item to ponder.

Assume a company with $20 per share of net worth, all tangible assets. Further assume the company has internally developed some magnificent consumer franchise, or that it was fortunate enough to obtain some important television stations by original FCC grant. Therefore, it earns a great deal on tangible assets, say $5 per share, or 25%.

With such economics, it might sell for $100 per share or more, and it might well also bring that price in a negotiated sale of the entire business.

Assume an investor buys the stock at $100 per share, paying in effect $80 per share for Goodwill Gust as would a corporate purchaser buying the whole company). Should the investor impute a $2 per share amortization charge annually ($80 divided by 40 years) to calculate "true" earnings per share? And, if so, should the new "true" earnings of $3 per share cause him to rethink his purchase price?

* * * * *

We believe managers and investors alike should view intangible assets from two perspectives:

(1) In analysis of operating results-that is, in evaluating the underlying economics of a business unit-amortization charges should be ignored. What a business can be expected to earn on unleveraged net tangible assets, excluding any charges against earnings for amortization of Goodwill, is the best guide to the economic attractiveness of the operation. It is also the best guide to the current value of the operation's economic Goodwill.

(2) In evaluating the wisdom of business acquisitions, amortization charges should be ignored also. They should be deducted neither from earnings nor from the cost of the business. This means forever viewing purchased Goodwill at its full cost, before any amortization. Furthermore, cost should be defined as including the full intrinsic business

> value-not just the recorded accounting value-of all consideration given, irrespective of market prices of the securities involved at the time of merger and irrespective of whether pooling treatment was allowed. For example, what we truly paid in the Blue Chip merger for 40% of the Goodwill of See's and the News was considerably more than the $51.7 million entered on our books. This disparity exists because the market value of the Berkshire shares given up in the merger was less than their intrinsic business value, which is the value that defines the true cost to us.

Operations that appear to be winners based upon perspective (1) may pale when viewed from perspective (2). A good business is not always a good purchase-although it's a good place to look for one.

When Berkshire buys a business for a premium over the GAAP net worth of the acquiree-as will usually be the case, since most companies we'd want to buy don't come at a discount-that premium has to be entered on the asset side of our balance sheet. There are loads of rules about just how a company should record the premium. But to simplify this discussion, we will focus on "Goodwill," the asset item to which almost all of Berkshire's acquisition premiums have been allocated. For example, when we recently acquired the half of GEICO we didn't previously own, we recorded goodwill of about $1.6 billion.

GAAP requires Goodwill to be amortized-that is, written off-over a period no longer than 40 years. Therefore, to extinguish our $1.6 billion in GEICO Goodwill, we will annually take charges of about $40 million against our earnings. This amount is not deductible for tax purposes, so it reduces both our pre-tax and after-tax earnings by $40 million.[49]

In an accounting sense, consequently, our GEICO Goodwill will disappear gradually in even-sized bites. But the one thing I can guarantee you is that the *economic* Goodwill we have purchased at GEICO will not decline in the same measured way. In fact, my best guess is that the economic goodwill assignable to GEICO will not decline at all, but rather will increase-and probably in a very substantial way.

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49 [The tax rule has changed. *See* I.R.C. § 197.]

I made a similar statement in our 1983 Annual Report about the Goodwill attributed to See's Candy, when I used that company as an example in a discussion of Goodwill accounting. At that time, our balance sheet carried about $36 million of See's Goodwill. We have since been charging about $1 million against earnings every year in order to amortize the asset, and the See's Goodwill on our balance sheet is now down to about $23 million. In other words, from an accounting standpoint, See's is now presented as having lost a good deal of goodwill since 1983.

The economic facts could not be more different. In 1983, See's earned about $27 million pre-tax on $11 million of net operating assets; in 1995 it earned $50 million on only $5 million of net operating assets. Clearly See's economic Goodwill has increased dramatically during the interval rather than decreased. Just as clearly, See's is worth many hundreds of millions of dollars more than its stated value on our books.

We could, of course, be wrong, but we expect GEICO's gradual loss of accounting value to be paired with increases in its economic value. Certainly that has been the pattern at most of our subsidiaries, not just See's. That is why we regularly present our operating earnings in a way that allows you to ignore all purchase-accounting adjustments.

In the future, also, we will adopt a similar policy for look-through earnings, moving to a form of presentation that rids these earnings of the major purchase-accounting adjustments of investees. We will not apply this policy to companies that have only small amounts of goodwill on their books, such as Coca-Cola or Gillette. We will extend it, however, to Wells Fargo and Disney, which have both recently made huge acquisitions and are consequently dealing with exceptionally large goodwill charges.

Before leaving this subject, we should issue an important warning: Investors are often led astray by CEOs and Wall Street analysts who equate depreciation charges with the amortization charges we have just discussed. In no way are the two the same: With rare exceptions, depreciation is an economic cost every bit as real as wages, materials, or taxes. Certainly that is true at Berkshire and at virtually all the other businesses we have studied. Furthermore, we do *not* think so-called EBITDA (earnings before interest, taxes, depreciation and amortization) is a meaningful measure of performance. Managements that dismiss the importance of depreciation-and emphasize "cash flow" or EBITDA-

are apt to make faulty decisions, and you should keep that in mind as you make your own investment decisions.

D. *Owner Earnings and the Cash Flow Fallacy*[50]

[Many business acquisitions require] major purchase-price accounting adjustments, as prescribed by generally accepted accounting principles (GAAP). The GAAP figures, of course, are the ones used in our consolidated financial statements. But, in our view, the GAAP figures are not necessarily the most useful ones for investors or managers. Therefore, the figures shown for specific operating units are earnings before purchase-price adjustments are taken into account. In effect, these are the earnings that would have been reported by the businesses if we had not purchased them.

A discussion of our reasons for preferring this form of presentation [follows. It] will never substitute for a steamy novel and definitely is not required reading. However, I know that among our 6,000 shareholders there are those who are thrilled by my essays on accounting-and I hope that both of you enjoy [it].

First a short quiz: below are abbreviated 1986 statements of earnings for two companies. Which business is the more valuable?

50 [Divided by hash lines: 1986; 1986 Appendix]

		Company 0		Company N
			(000s Omitted)	
Revenues		$677,240		$677,240
Cost of Goods Sold:				
Historical costs, excluding depreciation	$341,170		$341,170	
Special non-cash inventory costs			4,979(1)	
Depreciation of plant and equipment	8,301		13,355(2)	
		349,471		359,504
Gross Profit		$327,769		$317,736
Selling & Admin. Expense	$260,286		$260,286	
Amortization of Goodwill			595(3)	
		260,286		260,881
Operating Profit		$ 67,483		$ 56,855
Other Income, Net		4,135		4,135
Pre-Tax Income		$ 71,618		$ 60,990
Applicable Income Tax:				
Historical deferred and current tax	$ 31,387		$ 31,387	
Non-Cash Inter-period Allocation Adjustment			998(4)	
		31,387		32,385
Net Income		$ 40,231		$ 28,605

(Numbers (1) through (4) designate items discussed later in this section.)

As you've probably guessed, Companies 0 and N are the same business-Scott Fetzer. In the "0" (for "old") column we have shown what the company's 1986 GAAP earnings would have been if we had not purchased it; in the "N" (for "new") column we have shown Scott Fetzer's GAAP earnings as actually reported by Berkshire.

It should be emphasized that the two columns depict identical economics-i.e., the same sales, wages, taxes, etc. And both "companies" generate the same amount of cash for owners. Only the accounting is different.

So, fellow philosophers, which column presents truth? Upon which set of numbers should managers and investors focus?

Before we tackle those questions, let's look at what produces the disparity between 0 and N. We will simplify our discussion in some respects, but the simplification should not produce any inaccuracies in analysis or conclusions.

The contrast between 0 and N comes about because we paid an amount for Scott Fetzer that was different from its stated net worth. Under GAAP, such differences-such premiums or discounts-must be accounted for by "purchase-price adjustments." In Scott Fetzer's case, we paid $315 million for net assets that were

carried on its books at $172.4 million. So we paid a premium of $142.6 million.

The first step in accounting for any premium paid is to adjust the carrying value of current assets to current values. In practice, this requirement usually does not affect receivables, which are routinely carried at current value, but often affects inventories. Because of a $22.9 million LIFO reserve and other accounting intricacies,s1 Scott Fetzer's inventory account was carried at a $37.3 million discount from current value. *So,* making our first accounting move, we used $37.3 million of our $142.6 million premium to increase the carrying value of the inventory.

Assuming any premium is left after current assets are adjusted, the next step is to adjust fixed assets to current value. In our case, this adjustment also required a few accounting acrobatics relating to deferred taxes. Since this has been billed as a simplified discussion, I will skip the details and give you the bottom line: $68.0 million was added to fixed assets and $13.0 million was eliminated from deferred tax liabilities. After making this $81.0 million adjustment, we were left with $24.3 million of premium to allocate.

Had our situation called for them, two steps would next have been required: the adjustment of intangible assets other than Goodwill to current fair values, and the restatement of liabilities to current fair values, a requirement that typically affects only long-term debt and unfunded pension liabilities. In Scott Fetzer's case, however, neither of these steps was necessary.

The final accounting adjustment we needed to make, after recording fair market values for all assets and liabilities, was the assignment of the residual premium to Goodwill (technically known as "excess of cost over the fair value of net assets acquired"). This residual amounted to $24.3 million. Thus, the balance sheet of Scott Fetzer immediately before the acquisition, which is summarized below in column O, was transformed by the purchase into the balance sheet shown in column N. In real terms, both balance sheets depict the same assets and liabilities-but, as you can see, certain figures differ significantly.

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51 [A LIFO reserve is the difference between the current cost to replace inventory and the amount shown as the cost of inventory on a balance sheet. This difference can grow significantly, especially during inflationary periods.]

	Company O	Company N
	(000s Omitted)	
Assets		
Cash and Cash Equivalents	$ 3,593	$ 3,593
Receivables, net	90,919	90,919
Inventories	77,489	114,764
Other	5,954	5,954
Total Current Assets	177,955	215,230
Property, Plant, and Equipment, net	80,967	148,960
Investments in the Advances to Unconsolidated Subsidiaries and Joint Ventures	93,589	93,589
Other Assets, including Goodwill	9,836	34,210
	$362,347	$491,989
Liabilities		
Notes Payable and Current Portion of Long-term Debt	$ 4,650	$ 4,650
Accounts Payable	39,003	39,003
Accrued Liabilities	84,939	84,939
Total Current Liabilities	128,592	128,592
Long-term Debt and Capitalized Leases	34,669	34,669
Deferred Income Taxes	17,052	4,075
Other Deferred Credits	9,657	9,657
Total Liabilities	189,970	176,993
Shareholder's Equity	172,377	314,996
	$362,347	$491,989

The higher balance sheet figures shown in column N produce the lower income figures shown in column N of the earnings statement presented earlier. This is the result of the asset write-ups and of the fact that some of the written-up assets must be depreciated or amortized. The higher the asset figure, the higher the annual depreciation or amortization charge to earnings must be. The charges that flowed to the earnings statement because of the balance sheet write-ups were numbered in the statement of earnings shown earlier:

1. $4,979,000 for non-cash inventory costs resulting, primarily, from reductions that Scott Fetzer made in its inventories during 1986; charges of this kind are apt to be small or non-existent in future years.
2. $5,054,000 for extra depreciation attributable to the write-up of fixed assets; a charge approximating this amount will probably be made annually for 12 more years.
3. $595,000 for amortization of Goodwill; this charge will be made annually for 39 more years in a slightly larger amount

because our purchase was made on January 6 and, therefore, the 1986 figure applies to only 98% of the year.

4. $998,000 for deferred-tax acrobatics that are beyond my ability to explain briefly (or perhaps even non-briefly); a charge approximating this amount will probably be made annually for 12 more years.

It is important to understand that none of these newly-created accounting costs, totaling $11.6 million, are deductible for income tax purposes.[52] The "new" Scott Fetzer pays exactly the same tax as the "old" Scott Fetzer would have, even though the GAAP earnings of the two entities differ greatly. And, in respect to operating earnings, that would be true in the future also. However, in the unlikely event that Scott Fetzer sells one of its businesses, the tax consequences to the "old" and "new" company might differ widely.

By the end of 1986 the difference between the net worth of the "old" and "new" Scott Fetzer had been reduced from $142.6 million to $131.0 million by means of the extra $11.6 million that was charged to earnings of the new entity. As the years go by, similar charges to earnings will cause most of the premium to disappear, and the two balance sheets will converge. However, the higher land values and most of the higher inventory values that were established on the new balance sheet will remain unless land is disposed of or inventory levels are further reduced.

* * * * *

What does all this mean for owners? Did the shareholders of Berkshire buy a business that earned $40.2 million in 1986 or did they buy one earning $28.6 million? Were those $11.6 million of new charges a real economic cost to us? Should investors pay more for the stock of Company 0 than of Company N? And, if a business is worth some given multiple of earnings, was Scott Fetzer worth considerably more the day before we bought it than it was worth the following day?

If we think through these questions, we can gain some insights about what may be called "owner earnings." These represent (a) reported earnings plus (b) depreciation, depletion, amortization, and certain other non-cash charges such as Company N's items (1) and (4) less (c) the average annual amount of capitalized expenditures for plant and equipment, etc. that the business requires to

52 [The tax rule has changed. *See* I.R.C. § 197.]

fully maintain its long-term competitive position and its unit volume. (If the business requires additional working capital to maintain its competitive position and unit volume, the increment also should be included in (c). However, businesses following the LIFO inventory method usually do not require additional working capital if unit volume does not change.)

Our owner-earnings equation does not yield the deceptively precise figures provided by GAAP, since (c) must be a guess-and one sometimes very difficult to make. Despite this problem, we consider the owner earnings figure, not the GAAP figure, to be the relevant item for valuation purposes-both for investors in buying stocks and for managers in buying entire businesses. We agree with Keynes's observation: "I would rather be vaguely right than precisely wrong."

The approach we have outlined produces "owner earnings" for Company 0 and Company N that are identical, which means valuations are also identical, just as common sense would tell you should be the case. This result is reached because the sum of (a) and (b) is the same in both columns 0 and N, and because (c) is necessarily the same in both cases.

And what do Charlie and I, as owners and managers, believe is the correct figure for the owner earnings of Scott Fetzer? Under current circumstances, we believe (c) is very close to the "old" company's (b) number of $8.3 million and much below the "new" company's (b) number of $19.9 million. Therefore, we believe that owner earnings are far better depicted by the reported earnings in the 0 column than by those in the N column. In other words, we feel owner earnings of Scott Fetzer are considerably larger than the GAAP figures that we report.

That is obviously a happy state of affairs. But calculations of this sort usually do not provide such pleasant news. Most managers probably will acknowledge that they need to spend something more than (b) on their businesses over the longer term just to hold their ground in terms of both unit volume and competitive position. When this imperative exists-that is, when (c) exceeds (b)-GAAP earnings overstate owner earnings. Frequently this overstatement is substantial. The oil industry has in recent years provided a conspicuous example of this phenomenon. Had most major oil companies spent only (b) each year, they would have guaranteed their shrinkage in real terms.

All of this points up the absurdity of the "cash flow" numbers that are often set forth in Wall Street reports. These numbers rou-

tinely include (a) plus (b)-but do not subtract (c). Most sales brochures of investment bankers also feature deceptive presentations of this kind. These imply that the business being offered is the commercial counterpart of the Pyramids-forever state-of-the-art, never needing to be replaced, improved or refurbished. Indeed, if all U.S. corporations were to be offered simultaneously for sale through our leading investment bankers-and if the sales brochures describing them were to be believed-governmental projections of national plant and equipment spending would have to be slashed by 90%.

"Cash Flow," true, may serve as a shorthand of some utility in descriptions of certain real estate businesses or other enterprises that make huge initial outlays and only tiny outlays thereafter. A company whose only holding is a bridge or an extremely long-lived gas field would be an example. But "cash flow" is meaningless in such businesses as manufacturing, retailing, extractive companies, and utilities because, for them, (c) is always significant. To be sure, businesses of this kind may in a given year be able to defer capital spending. But over a five- or ten-year period, they must make the investment-or the business decays.

Why, then, are "cash flow" numbers so popular today? In answer, we confess our cynicism: we believe these numbers are frequently used by marketers of businesses and securities in attempts to justify the unjustifiable (and thereby to sell what should be the unsalable). When (a)-that is, GAAP earnings-looks by itself inadequate to service debt of a junk bond or justify a foolish stock price, how convenient it becomes for salesmen to focus on (a) + (b). But you shouldn't add (b) without subtracting (c): though dentists correctly claim that if you ignore your teeth they'll go away, the same is not true for (c). The company or investor believing that the debt-servicing ability or the equity valuation or an enterprise can be measured by totalling (a) and (b) while ignoring (c) is headed for certain trouble.

* * * * *

To sum up: in the case of both Scott Fetzer and our other businesses, we feel that (b) on an historical-cost basis-i.e., with both amortization of intangibles and other purchase-price adjustments excluded-is quite close in amount to (c). (The two items are not identical, of course. For example, at See's we annually make capitalized expenditures that exceed depreciation by $500,000 to $1 million, simply to hold our ground competitively.) Our conviction

about this point is the reason we show our amortization and other purchase-price adjustment items separately ... and is also our reason for viewing the earnings of the individual businesses . . . as much more closely approximating owner earnings than the GAAP figures.

Questioning GAAP figures may seem impious to some. After all, what are we paying the accountants for if it is not to deliver us the "truth" about our business. But the accountants' job is to record, not to evaluate. The evaluation job falls to investors and managers.

Accounting numbers of course, are the language of business and as such are of enormous help to anyone evaluating the worth of a business and tracking its progress. Charlie and I would be lost without these numbers: they invariably are the starting point for us in evaluating our own businesses and those of others. Managers and owners need to remember, however, that accounting is but an aid to business thinking, never a substitute for it.

E. *Intrinsic Value, Book Value, and Market Price*[53]

[Intrinsic value is] an all-important concept that offers the only logical approach to evaluating the relative attractiveness of investments and businesses. Intrinsic value can be defined simply: It is the discounted value of the cash that can be taken out of a business during its remaining life.

The calculation of intrinsic value, though, is not so simple. As our definition suggests, intrinsic value is an estimate rather than a precise figure, and it is additionally an estimate that must be changed if interest rates move or forecasts of future cash flows are revised. Two people looking at the same set of facts, moreover-and this would apply even to Charlie and me-will almost inevitably come up with at least slightly different intrinsic value figures. That is one reason we never give you our estimates of intrinsic value. What our annual reports do supply, though, are the facts that we ourselves use to calculate this value.

Meanwhile, we regularly report our per-share book value, an easily calculable number, though one of limited use. The limitations do not arise from our holdings of marketable securities, which are carried on our books at their current prices. Rather the inadequacies of book value have to do with the companies we control,

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53 [Divided by hash lines: 1996 Owner's Manual; 1987; 1985; 1996.]

whose values as stated on our books may be far different from their intrinsic values.

The disparity can go in either direction. For example, in 1964 we could state with certitude that Berkshire's per-share book value was $19.46. However, that figure considerably overstated the company's intrinsic value, since all of the company's resources were tied up in a sub-profitable textile business. Our textile assets had neither going-concern nor liquidation values equal to their carrying values. Today, however, Berkshire's situation is reversed: Our March 31, 1996 book value of $15,180 *far* understates Berkshire's intrinsic value, a point true because many of the businesses we control are worth much more than their carrying value.

Inadequate though they are in telling the story, we give you Berkshire's book-value figures because they today serve as a rough, albeit significantly understated, tracking measure for Berkshire's intrinsic value. In other words, the percentage change in book value in any given year is likely to be reasonably close to that year's change in intrinsic value.

You can gain some insight into the differences between book value and intrinsic value by looking at one form of investment, a college education. Think of the education's cost as its "book value." If this cost is to be accurate, it should include the earnings that were foregone by the student because he chose college rather than a job.

For this exercise, we will ignore the important non-economic benefits of an education and focus strictly on its economic value. First, we must estimate the earnings that the graduate will receive over his lifetime and subtract from that figure an estimate of what he would have earned had he lacked his education. That gives us an excess earnings figure, which must then be discounted, at an appropriate interest rate, back to graduation day. The dollar result equals the intrinsic economic value of the education.

Some graduates will find that the book value of their education exceeds its intrinsic value, which means that whoever paid for the education didn't get his money's worth. In other cases, the intrinsic value of an education will far exceed its book value, a result that proves capital was wisely deployed. In all cases, what is clear is that book value is meaningless as an indicator of intrinsic value.

An interesting accounting irony overlays a comparison of the reported financial results of our controlled companies with those of

the permanent minority holdings . . .. [These holdings] have a market value of over $2 billion. Yet they produced only $11 million in reported after-tax earnings for Berkshire in 1987.

Accounting rules dictate that we take into income only the dividends these companies pay us-which are little more than nominal-rather than our share of their earnings, which in 1987 amounted to well over $100 million. On the other hand, accounting rules provide that the carrying value of these three holdings-owned, as they are, by insurance companies-must be recorded on our balance sheet at current market prices. The result: GAAP accounting lets us reflect in our net worth the up-to-date underlying values of the businesses we partially own, but does not let us reflect their underlying earnings in our income account.

In the case of our controlled companies, just the opposite is true. Here, we show full earnings in our income account but never change asset values on our balance sheet, no matter how much the value of a business might have increased since we purchased it.

Our mental approach to this accounting schizophrenia is to ignore GAAP figures and to focus solely on the future earning power of both our controlled and non-controlled businesses. Using this approach, we establish our own ideas of business value, keeping these independent from both the accounting values shown on our books for controlled companies and the values placed by a sometimes foolish market on our partially-owned companies. It is this business value that we hope to increase at a reasonable (or, preferably, unreasonable) rate in the years ahead.

Historically, Berkshire shares have sold modestly below intrinsic business value. With the price there, purchasers could be certain (as long as they did not experience a widening of this discount) that their personal investment experience would at least equal the financial experience of the business. But recently the discount has disappeared, and occasionally a modest premium has prevailed.

The elimination of the discount means that Berkshire's market value increased even faster than business value (which, itself, grew at a pleasing pace). That was good news for any owner holding while that move took place, but it is bad news for the new or prospective owner. If the financial experience of new owners of Berkshire is merely to match the future financial experience of the company, any premium of market value over intrinsic business value that they pay must be maintained.

Management cannot determine market prices, although it can, by its disclosures and policies, encourage rational behavior by market participants. My own preference, as perhaps you'd guess, is for a market price that consistently approximates business value. Given that relationship, all owners prosper precisely as the business prospers during their period of ownership. Wild swings in market prices far above and below business value do not change the final gains for owners in aggregate; in the end, investor gains must equal business gains. But long periods of substantial undervaluation and/ or overvaluation will cause the gains of the business to be inequitably distributed among various owners, with the investment result of any given owner largely depending upon how lucky, shrewd, or foolish he happens to be.

Over the long term there has been a more consistent relationship between Berkshire's market value and business value than has existed for any other publicly-traded equity with which I am familiar. This is a tribute to you. Because you have been rational, interested, and investment-oriented, the market price for Berkshire stock has almost always been sensible. This unusual result has been achieved by a shareholder group with unusual demographics: virtually all of our shareholders are individuals, not institutions. No other public company our size can claim the same.

Ben Graham told a story 40 years ago that illustrates why investment professionals behave as they do: An oil prospector, moving to his heavenly reward, was met by St. Peter with bad news. "You're qualified for residence", said St. Peter, "but, as you can see, the compound reserved for oil men is packed. There's no way to squeeze you in." After thinking a moment, the prospector asked if he might say just four words to the present occupants. That seemed harmless to St. Peter, so the prospector cupped his hands and yelled, "Oil discovered in hell." Immediately the gate to the compound opened and all of the oil men marched out to head for the nether regions. Impressed, St. Peter invited the prospector to move in and make himself comfortable. The prospector paused. "No," he said, "I think I'll go along with the rest of the boys. There might be some truth to that rumor after all."

In [the 1995] letter, with Berkshire shares selling at $36,000, I told you: (1) Berkshire's gain in market value in recent years had outstripped its gain in intrinsic value, even though the latter gain had been highly satisfactory; (2) that kind of overperformance

could not continue indefinitely; (3) Charlie and I did not at that moment consider Berkshire to be undervalued.

Since I set down those cautions, Berkshire's intrinsic value has increased very significantly ... while the market price of our shares has changed little. This, of course, means that in 1996 Berkshire's stock underperformed the business. Consequently, today's price/value relationship is both much different from what it was a year ago and, as Charlie and I see it, more appropriate.

Over time, the aggregate gains made by Berkshire shareholders must of necessity match the business gains of the company. When the stock temporarily overperforms or underperforms the business, a limited number of shareholders-either sellers or buyers-receive outsized benefits at the expense of those they trade with. Generally, the sophisticated have an edge over the innocents in this game.

Though our primary goal is to maximize the amount that our shareholders, in total, reap from their ownership of Berkshire, we wish also to minimize the benefits going to some shareholders at the expense of others. These are goals we would have were we managing a family partnership, and we believe they make equal sense for the manager of a public company. In a partnership, fairness requires that partnership interests be valued equitably when partners enter or exit; in a public company, fairness prevails when market price and intrinsic value are in sync. Obviously, they won't always meet that ideal, but a manager-by his policies and communications-can do much to foster equity.

Of course, the longer a shareholder holds his shares, the more bearing Berkshire's business results will have on his financial experience-and the less it will matter what premium or discount to intrinsic value prevails when he buys and sells his stock. That's one reason we hope to attract owners with long-term horizons. Overall, I think we have succeeded in that pursuit. Berkshire probably ranks number one among large American corporations in the percentage of its shares held by owners with a long-term view.

F. *Segment Data and Consolidation*[54]

Despite the shortcomings of [GAAP], I would hate to have the job of devising a better set of rules. The limitations of the existing set, however, need not be inhibiting: CEOs are free to treat GAAP statements as a beginning rather than an end to their obli-

54 [1988.]

gation to inform owners and creditors-and indeed they should. After all, any manager of a subsidiary company would find himself in hot water if he reported barebones GAAP numbers that omitted key information needed by his boss, the parent corporation's CEO. Why, then, should the CEO himself withhold information vitally useful to *his* bosses-the shareholder-owners of the corporation?

What needs to be reported is data-whether GAAP, non-GAAP, or extra-GAAP-that helps financially-literate readers answer three key questions: (1) Approximately how much is this company worth? (2) What is the likelihood that it can meet its future obligations? and (3) How good a job are its managers doing, given the hand they have been dealt?

In most cases, answers to one or more of these questions are somewhere between difficult and impossible to glean from the minimum GAAP presentation. The business world is simply too complex for a single set of rules to effectively describe economic reality for all enterprises, particularly those operating in a wide variety of businesses, such as Berkshire.

Further complicating the problem is the fact that many managements view GAAP not as a standard to be met, but as an obstacle to overcome. Too often their accountants willingly assist them. ("How much," says the client, "is two plus two?" Replies the cooperative accountant, "What number did you have in mind?") Even honest and well-intentioned managements sometimes stretch GAAP a bit in order to present figures they think will more appropriately describe their performance. Both the smoothing of earnings and the "big bath" quarter are "white lie" techniques employed by otherwise upright managements.

Then there are managers who actively use GAAP to deceive and defraud. They know that many investors and creditors accept GAAP results as gospel. So these charlatans interpret the rules "imaginatively" and record business transactions in ways that technically comply with GAAP but actually display an economic illusion to the world.

As long as investors-including supposedly sophisticated institutions-place fancy valuations on reported "earnings" that march steadily upward, you can be sure that some managers and promoters will exploit GAAP to produce such numbers, no matter what the truth may be. Over the years, Charlie and I have observed many accounting-based frauds of staggering size. Few of the perpetrators have been punished; many have not even been censured.

It has been far safer to steal large sums with a pen than small sums with a gun.

Under one major change mandated by GAAP for 1988, we have been required to fully consolidate all our subsidiaries in our balance sheet and earnings statement. In the past, Mutual Savings and Loan, and Scott Fetzer Financial (a credit company that primarily finances installment sales of World Book and Kirby products) were consolidated on a "one-line" basis. That meant we (1) showed our equity in their combined net worths as a single-entry asset on Berkshire's consolidated balance sheet and (2) included our equity in their combined annual earnings as a single-line income entry in our consolidated statement of earnings. Now the rules require that we consolidate each asset and liability of these companies in our balance sheet and each item of their income and expense in our earnings statement.

This change underscores the need for companies also to report segmented data: The greater the number of economically diverse business operations lumped together in conventional financial statements, the less useful those presentations are and the less able investors are to answer the three questions posed earlier. Indeed, the only reason we ever prepare consolidated figures at Berkshire is to meet outside requirements. On the other hand, Charlie and I constantly study our segment data.

Now that we are required to bundle more numbers in our GAAP statements, we have decided to publish additional supplementary information that we think will help you measure both business value and managerial performance. (Berkshire's ability to discharge its obligations to creditors-the third question we listed-should be obvious, whatever statements you examine.) In these supplementary presentations, we will not necessarily follow GAAP procedures, or even corporate structure. Rather, we will attempt to lump major business activities in ways that aid analysis but do not swamp you with detail. Our goal is to give you important information in a form that we would wish to get it if our roles were reversed.

G. *Deferred Taxes*[55]

I referred earlier to a major change in GAAP that is expected in 1990. This change relates to the calculation of deferred taxes,

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55 [Divided by hash lines: 1988; 1989; 1992.]

and is both complicated and controversial-so much so that its imposition, originally scheduled for 1989, was postponed for a year.

When implemented, the new rule will affect us in various ways. Most important, we will be required to change the way we calculate our liability for deferred taxes on the unrealized appreciation of stocks held by our insurance companies.

Right now, our liability is layered. For the unrealized appreciation that dates back to 1986 and earlier years, $1.2 billion, we have booked a 28% tax liability. For the unrealized appreciation built up since, $600 million, the tax liability has been booked at 34%. The difference reflects the increase in tax rates that went into effect in 1987.

It now appears, however, that the new accounting rule will require us to establish the entire liability at 34% in 1990, taking the charge against our earnings. Assuming no change in tax rates by 1990, this step will reduce our earnings in that year (and thereby our reported net worth) by $71 million. The proposed rule will also affect other items on our balance sheet, but these changes will have only a minor impact on earnings and net worth.

We have no strong views about the desirability of this change in calculation of deferred taxes. We should point out, however, that neither a 28% nor a 34% tax liability precisely depicts economic reality at Berkshire since we have no plans to sell the stocks in which we have the great bulk of our gains.

A new accounting rule is likely to be adopted that will require companies to reserve against all gains at the current tax rate, whatever it may be. With the rate at 34%, such a rule would increase our deferred tax liability, and decrease our net worth, by about $71 million-the result of raising the reserve on our pre-1987 gain by six percentage points. Because the proposed rule has sparked widespread controversy and its final form is unclear, we have not yet made this change.

. . . [W]e would owe taxes of more than $1.1 billion were we to sell all of our securities at year-end market values. Is this $1.1 billion liability equal, or even similar, to a $1.1 billion liability payable to a trade creditor 15 days after the end of the year? Obviously not-despite the fact that both items have exactly the same effect on audited net worth, reducing it by $1.1 billion.

On the other hand, is this liability for deferred taxes a meaningless accounting fiction because its payment can be triggered

only by the sale of stocks that, in very large part, we have no intention of selling? Again, the answer is no.

In economic terms, the liability resembles an interest-free loan from the U.S. Treasury that comes due only at our election (unless, of course, Congress moves to tax gains before they are realized). This "loan" is peculiar in other respects as well: It can be used only to finance the ownership of the particular, appreciated stocks and it fluctuates in size-daily as market prices change and periodically if tax rates change. In effect, this deferred tax liability is equivalent to a very large transfer tax that is payable only if we elect to move from one asset to another. Indeed, we sold some relatively small holdings in 1989, incurring about $76 million of "transfer" tax on $224 million of gains.

Because of the way the tax law works, the Rip Van Winkle style of investing that we favor-if successful-has an important mathematical edge over a more frenzied approach. Let's look at an extreme comparison.

Imagine that Berkshire had only $1, which we put in a security that doubled by yearend and was then sold. Imagine further that we used the after-tax proceeds to repeat this process in each of the next 19 years, scoring a double each time. At the end of the 20 years, the 34% capital gains tax that we would have paid on the profits from each sale would have delivered about $13,000 to the government and we would be left with about $25,250. Not bad. If, however, we made a single fantastic investment that itself doubled 20 times during the 20 years, our dollar would grow to $1,048,576. Were we then to cash out, we would pay a 34% tax of roughly $356,500 and be left with about $692,000.

The *sole* reason for *this* staggering *difference in results would* be the timing of tax payments. Interestingly, the government would gain from Scenario 2 in exactly the same 27:1 ratio as we-taking in taxes of $356,500 verus $13,OOO-though, admittedly, it would have to wait for its money.

We have not, we *should stress, adopted our strategy favoring* long-term investment commitments because of these mathematics. Indeed, it is possible we could earn greater after-tax returns by moving rather frequently from one investment to another. Many years ago, that's exactly what Charlie and I did.

Now we would rather stay put, even if that means slightly lower returns. Our reason is simple: We have found splendid business relationships to be so rare and so enjoyable that we want to retain all we develop. This decision is particularly easy for us be-

cause we feel that these relationships will produce good-though perhaps not optimal-financial results. Considering that, we think it makes little sense for us to give up time with people we know to be interesting and admirable for time with others we do not know and who are likely to have human qualities far closer to average. That would be akin to marrying for money-a mistake under most circumstances, insanity if one is already rich.

A new accounting rule having to do with deferred taxes becomes effective in 1993. It undoes a dichotomy in our books that I have described in previous annual reports and that relates to the accrued taxes carried against the unrealized appreciation in our investment portfolio. At yearend 1992, that appreciation amounted to $7.6 billion. Against $6.4 billion of that, we carried taxes at the current 34% rate. Against the remainder of $1.2 billion, we carried an accrual of 28%, the tax rate in effect when that portion of the appreciation occurred. The new accounting rule says we must henceforth accrue all deferred tax at the current rate, which to us seems sensible.

The new marching orders mean that in the first quarter of 1993 we will apply a 34% rate to all of our unrealized appreciation, thereby increasing the tax liability and reducing net worth by $70 million. The new rule also will cause us to make other minor changes in our calculation of deferred taxes.

Future changes in tax rates will be reflected immediately in the liability for deferred taxes and, correspondingly, in net worth. The impact could well be substantial. Nevertheless, what is important in the end is the tax rate at the time we sell securities, when unrealized appreciation becomes realized.

H. *Retiree Benefits and Stock Options*[56]

Another major accounting change, whose implementation is required by January 1, 1993, mandates that businesses recognize their present-value liability for post-retirement health benefits. Though GAAP has previously required recognition of pensions to be paid in the future, it has illogically ignored the costs that companies will then have to bear for health benefits. The new rule will force many companies to record a huge balance-sheet liability (and a consequent reduction in net worth) and also henceforth to recog-

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56 [1992.]

nize substantially higher costs when they are calculating annual profits.

In making acquisitions, Charlie and I have tended to avoid companies with significant post-retirement liabilities. As a result, Berkshire's present liability and future costs for post-retirement health benefits-though we now have 22,000 employees-are inconsequential. I need to admit, though, that we had a near miss: In 1982 I made a huge mistake in committing to buy a company burdened by extraordinary post-retirement health obligations. Luckily, though, the transaction fell through for reasons beyond our control. Reporting on this episode in the 1982 annual report, I said: "If we were to introduce graphics to this report, illustrating favorable business developments of the past year, two blank pages depicting this blown deal would be the appropriate centerfold." Even so, I wasn't expecting things to get as bad as they did. Another buyer appeared, the business soon went bankrupt and was shut down, and thousands of workers found those bountiful health-care promises to be largely worthless.

In recent decades, no CEO would have dreamed of going to his board with the proposition that his company become an insurer of uncapped post-retirement health benefits that other corporations chose to install. A CEO didn't need to be a medical expert to know that lengthening life expectancies and soaring health costs would guarantee an insurer a financial battering from such a business. Nevertheless, many a manager blithely committed his own company to a self-insurance plan embodying precisely the same promises-and thereby doomed his shareholders to suffer the inevitable consequences. In health-care, open-ended promises have created open-ended liabilities that in a few cases 100m so large as to threaten the global competitiveness of major American industries.

I believe part of the reason for this reckless behavior was that accounting rules did not, for so long, require the booking of post-retirement health costs as they were incurred. Instead, the rules allowed cash-basis accounting, which vastly understated the liabilities that were building up. In effect, the attitude of both managements and their accountants toward these liabilities was "out-of-sight, out-of-mind." Ironically, some of these same managers would be quick to criticize Congress for employing "cash-basis" thinking in respect to Social Security promises or other programs creating future liabilities of size.

Managers thinking about accounting issues should never forget one of Abraham Lincoln's favorite riddles: "How many legs does a dog have if you call his tail a leg?" The answer: "Four, because calling a tail a leg does not make it a leg." It behooves managers to remember that Abe's right even if an auditor is willing to certify that the tail is a leg.

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The most egregious case of let's-not-face-up-to-reality behavior by executives and accountants has occurred in the world of stock options. In Berkshire's 1985 annual report, I laid out my opinions about the use and misuse of options.[57] But even when options are structured properly, they are accounted for in ways that make no sense. The lack of logic is not accidental: For decades, much of the business world has waged war against accounting rulemakers, trying to keep the costs of stock options from being reflected in the profits of the corporations that issue them.

Typically, executives have argued that options are hard to value and that therefore their costs should be ignored. At other times managers have said that assigning a cost to options would injure small start-up businesses. Sometimes they have even solemnly declared that "out-of-the-money" options (those with an exercise price equal to or above the current market price) have no value when they are issued.

Oddly, the Council of Institutional Investors has chimed in with a variation on that theme, opining that options should not be viewed as a cost because they "aren't dollars out of a company's coffers." I see this line of reasoning as offering exciting possibilities to American corporations for instantly improving their reported profits. For example, they could eliminate the cost of insurance by paying for it with options. So if you're a CEO and subscribe to this "no cash-no cost" theory of accounting, I'll make you an offer you can't refuse: Give us a call at Berkshire and we will happily sell you insurance in exchange for a bundle of long-term options on your company's stock.

Shareholders should understand that companies incur costs when they deliver something of value to another party and not just when cash changes hands. Moreover, it is both silly and cynical to say that an important item of cost should not be recognized simply because it can't be quantified with pinpoint precision. Right now,

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57 *[See* the essay A Principled Approach to Executive Pay in Part I.E.]

accounting abounds with imprecision. After all, no manager or auditor knows how long a 747 is going to last, which means he also does not know what the yearly depreciation charge for the plane should be. No one knows with any certainty what a bank's annual loan loss charge ought to be. And the estimates of losses that property casualty companies make are notoriously inaccurate.

Does this mean that these important items of cost should be ignored simply because they can't be quantified with absolute accuracy? Of course not. Rather, these costs should be estimated by honest and experienced people and then recorded. When you get right down to it, what other item of major but hard-to-precisely-calculate cost-other, that is, than stock options-does the accounting profession say should be ignored in the calculation of earnings?

Moreover, options are just not that difficult to value. Admittedly, the difficulty is increased by the fact that the options given to executives are restricted in various ways. These restrictions affect value. They do not, however, eliminate it. In fact, since I'm in the mood for offers, I'll make one to any executive who is granted a restricted option, even though it may be out of the money: On the day of issue, Berkshire will pay him or her a substantial sum for the right to any future gain he or she realizes on the option. So if you find a CEO who says his newly-issued options have little or no value, tell him to try us out. In truth, we have far more confidence in our ability to determine an appropriate price to pay for an option than we have in our ability to determine the proper depreciation rate for our corporate jet.

It seems to me that the realities of stock options can be summarized quite simply: If options aren't a form of compensation, what are they? If compensation isn't an expense, what is it? And, if expenses shouldn't go into the calculation of earnings, where in the world should they go?

The accounting profession and the SEC should be shamed by the fact that they have long let themselves be muscled by business executives on the option-accounting issue. Additionally, the lobbying that executives engage in may have an unfortunate by-product: In my opinion, the business elite risks losing its credibility on issues of significance to society-about which it may have much of value to say-when *it* advocates the *incredible* on *issues* of *significance* to itself.

1. *Distribution of the Corporate Tax Burden*[58]

The Tax Reform Act of 1986 affects our various businesses in important and divergent ways. Although we find much to praise in the Act, the net financial effect for Berkshire is negative: our rate of increase in business value is likely to be at least moderately slower under the new law than under the old. The net effect for our shareholders is even more negative: every dollar of increase in per-share business value, assuming the increase is accompanied by an equivalent dollar gain in the market value of Berkshire stock, will produce 72¢ of after-tax gain for our shareholders rather than the 80¢ produced under the old law. This result, of course, reflects the rise in the maximum tax rate on personal capital gains from 20% to 28%.

Here are the main tax changes that affect Berkshire:

• The tax rate on corporate ordinary income is scheduled to decrease from 46% in 1986 to 34% in 1988. This change obviously affects us positively-and it also has a significant positive effect on two of our three major investees, Capital Cities/ABC and The Washington Post Company.

I say this knowing that over the years there has been a lot of fuzzy and often partisan commentary about who really pays corporate taxes-businesses or their customers. The argument, of course, has usually turned around tax increases, not decreases. Those people resisting increases in corporate rates frequently argue that corporations in reality pay none of the taxes levied on them but, instead, act as a sort of economic pipeline, passing all taxes through to consumers. According to these advocates, any corporate-tax increase will simply lead to higher prices that, for the corporation, offset the increase. Having taken this position, proponents of the "pipeline" theory must also conclude that a tax decrease for corporations will not help profits but will instead flow through, leading to correspondingly lower prices for consumers.

Conversely, others argue that corporations not only pay the taxes levied upon them, but absorb them also. Consumers, this school says, will be unaffected by changes in corporate rates.

What really happens? When the corporate rate is cut, do Berkshire, The Washington Post, Cap Cities, etc., themselves soak up the benefits, or do these companies pass the benefits along to their customers in the form of lower prices? This is an important question for investors and managers, as well as for policymakers.

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58 [1986.]

Our conclusion is that in some cases the benefits of lower corporate taxes fall exclusively, or almost exclusively, upon the corporation and its shareholders, and that in other cases the benefits are entirely, or almost entirely, passed through to the customer. What determines the outcome is the strength of the corporation's business franchise and whether the profitability of the franchise is regulated.

For example, when the franchise is strong and after-tax profits are regulated in a relatively precise manner, as is the case with electric utilities, changes in corporate tax rates are largely reflected in prices, not in profits. When taxes are cut, prices will usually be reduced in short order. When taxes are increased, prices will rise, though often not as promptly.

A similar result occurs in a second arena-in the price-competitive industry, whose companies typically operate with very weak business franchises. In such industries, the free market "regulates" after-tax profits in a delayed and irregular, but generally effective, manner. The marketplace, in effect, performs much the same function in dealing with the price-competitive industry as the Public Utilities Commission does in dealing with electric utilities. In these industries, therefore, tax changes eventually affect prices more than profits.

In the case of unregulated businesses blessed with strong franchises, however, it's a different story: the corporation and its shareholders are then the major beneficiaries of tax cuts. These companies benefit from a tax cut much as the electric company would if it lacked a regulator to force down prices.

Many of our businesses, both those we own in whole and in part, possess such franchises. Consequently, reductions in their taxes largely end up in our pockets rather than the pockets of our customers. While this may be impolitic to state, it is impossible to deny. If you are tempted to believe otherwise, think for a moment of the most able brain surgeon or lawyer in your area. Do you really expect the fees of this expert (the local "franchise-holder" in his or her specialty) to be reduced now that the top personal tax rate is being cut from 50% to 28%?

Your joy at our conclusion that lower rates benefit a number of our operating businesses and investees should be severely tempered, however, by another of our convictions: scheduled 1988 tax rates, both individual and corporate, seem totally unrealistic to us. These rates will very likely bestow a fiscal problem on Washington that will prove incompatible with price stability. We believe, there-

fore, that ultimately-within, say, five years-either higher tax rates or higher inflation rates are almost certain to materialize. And it would not surprise us to see both.

• Corporate capital gains tax rates have been increased from 28% to 34%, effective in 1987. This change will have an important adverse effect on Berkshire because we expect much of our gain in business value in the future, as in the past, to arise from capital gains. For example, our three major investment holdings-Cap Cities, GEICO, and Washington Post-at yearend had a market value of over $1.7 billion, close to 75% of the total net worth of Berkshire, and yet they deliver us only about $9 million in annual income. Instead, all three retain a very high percentage of their earnings, which we expect to eventually deliver us capital gains.

The new law increases the rate for all gains realized in the future, including the unrealized gains that existed before the law was enacted. At yearend, we had $1.2 billion of such unrealized gains in our equity investments. The effect of the new law on our balance sheet will be delayed because a GAAP rule stipulates that the deferred tax liability applicable to unrealized gains should be stated at last year's 28% tax rate rather than the current 34% rate. This rule is expected to change soon. The moment it does, about $73 million will disappear from our GAAP net worth and be added to the deferred tax account.

• Dividend and interest income received by our insurance companies will be taxed far more heavily under the new law. First, all corporations will be taxed on 20% of the dividends they receive from other domestic corporations, up from 15% under the old law. Second, there is a change concerning the residual 80% that applies only to property/casualty companies: 15% of that residual will be taxed if the stocks paying the dividends were purchased after August 7, 1986. A third change, again applying only to property/casualty companies, concerns tax-exempt bonds: interest on bonds purchased by insurers after August 7, 1986 will only be 85% tax-exempt.

The last two changes are very important. They mean that our income from the investments we make in future years will be significantly lower than would have been the case under the old law. My best guess is that these changes alone will eventually reduce the earning power of our insurance operation by at least 10% from what we could previously have expected.

• The new tax law also materially changes the timing of tax payments by property/casualty insurance companies. One new rule

requires us to discount our loss reserves in our tax returns, a change that will decrease deductions and increase taxable income. Another rule, to be phased in over six years, requires us to include 20% of our unearned premium reserve in taxable income.

Neither rule changes the amount of the annual tax accrual in our reports to you, but each materially accelerates the schedule of payments. That is, taxes formerly deferred will now be front-ended, a change that will significantly cut the profitability of our business. An analogy will suggest the toll: if, upon turning 21, you were required to immediately pay tax on all income you were due to receive throughout your life, both your lifetime wealth and your estate would be a small fraction of what they would be if all taxes on your income were payable only when you died.

Attentive readers may spot an inconsistency in what we say. Earlier, discussing companies in price-competitive industries, we suggested that tax increases or reductions affect these companies relatively little, but instead are largely passed along to their customers. But now we are saying that tax increases will affect profits of Berkshire's property/casualty companies even though they operate in an intensely price-competitive industry.

The reason this industry is likely to be an exception to our general rule is that not all major insurers will be working with identical tax equations. Important differences will exist for several reasons: a new alternative minimum tax will materially affect some companies but not others; certain major insurers have huge loss carry-forwards that will largely shield their income from significant taxes for at least a few years; and the results of some large insurers will be folded into the consolidated returns of companies with non-insurance businesses. These disparate conditions will produce widely-varying marginal tax rates in the property/casualty industry. That will not be the case, however, in most other price-competitive industries, such as aluminum, autos and department stores, in which the major players will generally contend with similar tax equations.

The absence of a common tax calculus for property/casualty companies means that the increased taxes falling on the industry will probably not be passed along to customers to the degree that they would in a typical price-competitive industry. Insurers, in other words, will themselves bear much of the new tax burdens.

• A partial offset to these burdens is a "fresh start" adjustment that occurred on January 1, 1987 when our December 31, 1986 loss reserve figures were converted for tax purposes to the

newly-required discounted basis. (In our reports to you, however, reserves will remain on exactly the same basis as in the past-undiscounted except in special cases such as structured settlements.) The net effect of the "fresh start" is to give us a double deduction: we will get a tax deduction in 1987 and future years for a portion of our incurred-but-unpaid insurance losses that have already been fully deducted as costs in 1986 and earlier years.

The increase in net worth that is produced by this change is not yet reflected in our financial statements. Rather, under present GAAP rules (which may be changed), the benefit will flow into the earnings statement and, consequently, into net worth over the next few years by way of reduced tax charges. We expect the total benefit from the fresh-start adjustment to be in the $30-$40 million range. It should be noted, however, that this is a one-time benefit, whereas the negative impact of the other insurance-related tax changes is not only ongoing but, in important respects, will become more severe as time passes.

• The General Utilities Doctrine was repealed by the new tax law. This means that in 1987 and thereafter there will be a double tax on corporate liquidations, one at the corporate level and another at the shareholder level. In the past, the tax at the corporate level could be avoided. If Berkshire, for example, were to be liquidated-which it most certainly won't be-shareholders would, under the new law, receive far less from the sales of our properties than they would have if the properties had been sold in the past, assuming identical prices in each sale. Though this outcome is theoretical in our case, the change in the law will very materially affect many companies. Therefore, it also affects our evaluations of prospective investments. Take, for example, producing oil and gas businesses, selected media companies, real estate companies, etc. that might wish to sell out. The values that their shareholders can realize are likely to be significantly reduced simply because the General Utilities Doctrine has been repealed-though the companies' operating economics will not have changed adversely at all. My impression is that this important change in the law has not yet been fully comprehended by either investors or managers.

J. *Taxation and Investment Philosophy*[59]

Berkshire is a substantial payer of federal income taxes. In aggregate, we will pay 1993 federal income taxes of $390 million,

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59 [1993.]

about $200 million of that attributable to operating earnings and $190 million to realized capital gains.[60] Furthermore, our share of the 1993 federal and foreign income taxes paid by our investees is well over $400 million, a figure you don't see on our financial statements but that is nonetheless real. Directly and indirectly, Berkshire's 1993 federal income tax payments will be about lh of 1% of the total paid last year by all American corporations.

Speaking for our own shares, Charlie and I have absolutely no complaint about these taxes. We know we work in a market-based economy that rewards our efforts far more bountifully than it does the efforts of others whose output is of equal or greater benefit to society. Taxation should, and does, partially redress this inequity. But we still remain extraordinarily well-treated.

Berkshire and its shareholders, in combination, would pay a much smaller tax if Berkshire operated a partnership or "S" corporation, two structures often used for business activities. For a variety of reasons, that's not feasible for Berkshire to do. However, the penalty our corporate form imposes is mitigated-though far from eliminated-by our strategy of investing for the long term. Charlie and I would follow a buy-and-hold policy even if we ran a tax-exempt institution. We think it the soundest way to invest, and it also goes down the grain of our personalities. A third reason to favor this policy, however, is the fact that taxes are due only when gains are realized.

Through my favorite comic strip, Li'l Abner, I got a chance during my youth to see the benefits of delayed taxes, though I missed the lesson at the time. Making his readers feel superior, Li'l Abner bungled happily, but moronically, through life in Dogpatch. At one point he became infatuated with a New York temptress, Appassionatta Van Climax, but despaired of marrying her because he had only a single silver dollar and she was interested solely in millionaires. Dejected, Abner took his problem to Old Man Mose, the font of all knowledge in Dogpatch. Said the sage: Double your money 20 times and Appassionatta will be yours (1, 2, 4, 8 - - - - 1,048,576).

My last memory of the strip is Abner entering a roadhouse, dropping his dollar into a slot machine, and hitting a jackpot that spilled money all over the floor. Meticulously following Mose's advice, Abner picked up two dollars and went off to find his next

60 [For 1996, the figure was $860 million.]

double. Whereupon I dumped Abner and began reading Ben Graham.

Mose clearly was overrated as a guru: Besides failing to anticipate Abner's slavish obedience to instructions, he also forgot about taxes. Had Abner been subject, say, to the 35% federal tax rate that Berkshire pays, and had he managed one double annually, he would after 20 years only have accumulated $22,370. Indeed, had he kept on both getting his annual doubles and paying a 35% tax on each, he would have needed 7½ years more to reach the $1 million required to win Appassionatta.

But what if Abner had instead put his dollar in a single investment and held it until it doubled the same *27¼* times? In that case, he would have realized about $200 million pre-tax or, after paying a $70 million tax in the final year, about $130 million after-tax. For that, Appassionatta would have crawled to Dogpatch. Of course, with *27¼* years having passed, how Appassionatta would have looked to a fellow sitting on $130 million is another question.

What this little tale tells us is that tax-paying investors will realize a far, far greater sum from a single investment that compounds internally at a given rate than from a succession of investments compounding at the same rate. But I suspect many Berkshire shareholders figured that out long ago.

EPILOGUE[61]

We will keep most of our major holdings, regardless of how they are priced relative to intrinsic business value. This 'til-death-do-us-part attitude, combined with the full prices these holdings command, means that they cannot be expected to push up Berkshire's value in the future as sharply as in the past. In other words, our performance to date has benefited from a double-dip: (1) the exceptional gains in intrinsic value that our portfolio companies have achieved; (2) the additional bonus we realized as the market appropriately "corrected" the prices of these companies, raising their valuations in relation to those of the average business. We will continue to benefit from good gains in business value that we feel confident our portfolio companies will make. But our "catch-up" rewards have been realized, which means we'll have to settle for a single-dip in the future.

We face another obstacle: In a finite world, high growth rates must self-destruct. If the base from which the growth is taking place is tiny, this law may not operate for a time. But when the base balloons, the party ends: A high growth rate eventually forges its own anchor.

Carl Sagan has entertainingly described this phenomenon, musing about the destiny of bacteria that reproduce by dividing into two every 15 minutes. Says Sagan: "That means four doublings an hour, and 96 doublings a day. Although a bacterium weighs only about a trillionth of a gram, its descendants, after a day of wild asexual abandon, will collectively weigh as much as a mountain [...] in two days, more than the sun-and before very long, everything in the universe will be made of bacteria." Not to worry, says Sagan: Some obstacle always impedes this kind of exponential growth. "The bugs run out of food, or they poison each other, or they are shy about reproducing in public."

Even on bad days, Charlie Munger (Berkshire's Vice Chairman and my partner) and I do not think of Berkshire as a bacterium. Nor, to our unending sorrow, have we found a way to double its net worth every 15 minutes. Furthermore, we are not the least bit shy about reproducing-financially-in public. Nevertheless, Sagan's observations apply.

A fat wallet ... is the enemy of superior investment results. And Berkshire now has a net worth of $11.9 billion compared to

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61 [Divided by hash lines: 1989; 1994; 1996 Owner's Manual.]

about $22 million when Charlie and I began to manage the company. Though there are as many good businesses as ever, it is useless for us to make purchases that are inconsequential in relation to Berkshire's capital. (As Charlie regularly reminds me, "If something is not worth doing at all, it's not worth doing welL") We now consider a security for purchase only if we believe we can deploy at least $100 million in it. Given that minimum, Berkshire's investment universe has shrunk dramatically.

Nevertheless, we will stick with the approach that got us here and try not to relax our standards. Ted Williams, in *The Story of My Life,* explains why: "My argument is, to be a good hitter, you've got to get a good ball to hit. It's the first rule in the book. If I have to bite at stuff that is out of my happy zone, I'm not a .344 hitter. I might only be a .250 hitter." Charlie and I agree and will try to wait for opportunities that are well within our own "happy zone."

We will continue to ignore political and economic forecasts, which are an expensive distraction for many investors and businessmen. Thirty years ago, no one could have foreseen the huge expansion of the Vietnam War, wage and price controls, two oil shocks, the resignation of a president, the dissolution of the Soviet Union, a one-day drop in the Dow of 508 points, or treasury bill yields fluctuating between 2.8% and 17.4%.

But, surprise-none of these blockbuster events made the slightest dent in Ben Graham's investment principles. Nor did they render unsound the negotiated purchases of fine businesses at sensible prices. Imagine the cost to us, then, if we had let a fear of unknowns cause us to defer or alter the deployment of capital. Indeed, we have usually made our best purchases when apprehensions about some macro event were at a peak. Fear is the foe of the faddist, but the friend of the fundamentalist.

A different set of major shocks is sure to occur in the next 30 years. We will neither try to predict these nor to profit from them. If we can identify businesses similar to those we have purchased in the past, external surprises will have little effect on our long-term results.

What we promise you-along with more modest gains-is that during your ownership of Berkshire, you will fare just as Charlie and I do. If you suffer, we will suffer; if we prosper, so will you. And we will not break this bond by introducing compensation arrangements that give us a greater participation in the upside than the downside.

We further promise you that our personal fortunes will remain overwhelmingly concentrated in Berkshire shares: We will not ask you to invest with us and then put our own money elsewhere. In addition, Berkshire dominates both the investment portfolios of most members of our families and of a great many friends who belonged to partnerships that Charlie and I ran in the 1960's. We could not be more motivated to do our best. . . . .

We achieved our gains through the efforts of a superb corps of operating managers who get extraordinary results from some ordinary-appearing businesses. Casey Stengel described managing a baseball team as "getting paid for home runs other fellows hit." That's my formula at Berkshire, also . . . . .

It's far better to own a significant portion of the Hope diamond than 100% of a rhinestone, and the companies just mentioned easily qualify as rare gems. Best of all, we aren't limited to simply a few of this breed, but instead possess a growing collection.

Stock prices will continue to fluctuate-sometimes sharply-and the economy will have its ups and downs. Over time, however, we believe it is highly probable that the sort of businesses we own will continue to increase in value at a satisfactory rate.

I think it's appropriate that I conclude with a discussion of Berkshire's management, today and in the future. As our first owner-related principle tells you, Charlie and I are the managing partners of Berkshire. But we subcontract all of the heavy lifting in this business to the managers of our subsidiaries. In fact, we delegate almost to the point of abdication: Though Berkshire has about 33,000 employees, only 12 of these are at headquarters.

Charlie and I mainly attend to capital allocation and the care and feeding of our key managers. Most of these managers are happiest when they are left alone to run their businesses, and that is customarily just how we leave them. That puts them in charge of all operating decisions and of dispatching the excess cash they generate to headquarters. By sending it to us, they don't get diverted by the various enticements that would come their way were they responsible for deploying the cash their businesses throw off. Furthermore, Charlie and I are exposed to a much wider range of possibilities for investing these funds than any of our managers could find in his or her own industry.

Most of our managers are independently wealthy, and it's therefore up to us to create a climate that encourages them to choose working with Berkshire over golfing or fishing. This leaves

us needing to treat them fairly and in the manner that we would wish to be treated if our positions were reversed.

As for the allocation of capital, that's an activity both Charlie and I enjoy and in which we have acquired some useful experience. In a general sense, grey hair doesn't hurt on this playing field: You don't need good hand-eye coordination or well-toned muscles to push money around (thank heavens). As long as our minds continue to function effectively, Charlie and I can keep on doing our jobs pretty much as we have in the past.

On my death, Berkshire's ownership picture will change but not in a disruptive way: First, only about 1% of my stock will have to be sold to take care of bequests and taxes; second, the balance of my stock will go to my wife, Susan, if she survives me, or to a family foundation if she doesn't. In either event, Berkshire will possess a controlling shareholder guided by the same philosophy and objectives that now set our course.

At that juncture, the Buffett family will not be involved in managing the business, only in picking and overseeing the managers who do. Just who those managers will be, of course, depends on the date of my death. But I can anticipate what the management structure will be: Essentially my job will be split into two parts, with one executive becoming responsible for investments and another for operations. If the acquisition of new businesses is in prospect, the two will cooperate in making the decisions needed. Both executives will report to a board of directors that will be responsive to the controlling shareholder, whose interests will in turn be aligned with yours.

Were we to need the management structure I have just described on an immediate basis, my family and a few key individuals know who I would pick to fill both posts. Both currently work for Berkshire and are people in whom I have total confidence.

I will continue to keep my family posted on the succession issue. Since Berkshire stock will make up virtually my entire estate and will account for a similar portion of the assets of either my wife or the foundation for a considerable period after my death, you can be sure that I have thought through the succession question carefully. You can be equally sure that the principles we have employed to date in running Berkshire will continue to guide the managers who succeed me.

Lest we end on a morbid note, I also want to assure you that I have never felt better. I love running Berkshire, and if enjoying life promotes longevity, Methuselah's record is in jeopardy.62

62 [According to the Bible, Methuselah lived 969 years. *Genesis 5:27.]*

In preparing this compendium and organizing the symposium featuring it, many friends and colleagues generously gave me indispensable help. Iowe an enormous debt of gratitude to Warren Buffett for his generosity of spirit, time, and intellect; for allowing me to undertake the project; and for his direct participation in making it a success. I am equally indebted to Charlie Munger, not only for his service as a panel-master and participant throughout the symposium, but also for allowing me to reprint in this collection portions of his Chairman's letters to the shareholders of Berkshire's Wesco Financial Corporation. Thanks also go to Bob Denham for making the connection, to Susan Buffett and Howard Buffett for joining us throughout the conference weekend, to Ajit Jain, Carol Loomis, Bob Mundheim, and Lou Simpson, and to Debbie Bosanek.

Sam and Ronnie Heyman generously furnished financial support for the symposium through their endowment of the Samuel and Ronnie Heyman Center on Corporate Governance at Cardozo School of Law. All concerned are grateful to the Heymans for that, as well as for their gracious hospitality to many guests during the conference weekend. We at Cardozo are further indebted to the Heymans for making possible many other significant events at our school.

My colleagues at Cardozo also provided unfailing support for this project, especially Arthur Jacobson who must share credit for inspiring the idea of the conference, and Monroe Price who made it all possible. My Cardozo colleague Chuck Yablon also deserves my special thanks, as do my former Cardozo colleagues and predecessors as Directors of the Heyman Center, Bill Bratton and Elliott Weiss. All three participated in the conference as well.

The indefatigable efforts of two editors of the *Cardozo Law Review* during 1996-97 were essential to the planning and coordination of the symposium-Stacy Goldschmidt and Jennifer Newcomb held the fort down at Cardozo while I was visiting at George Washington Law School during the 1996-97 academic year. The *Cardozo Law Review* editors and staff during 1997-98 helped pull the symposium volume together and are due thanks as well, especially Ken Dursht, Yulan Li, Mark Oh, and Steve Sparling. My colleagues at GW Law School were also super-supportive, especially Larry Mitchell, who also participated in the symposium, and Dean Jack Friedenthal.

I also wish to acknowledge David Rudenstine, who served as interim Dean of Cardozo during 1996-97, and Paul Verkuil, who has been the Dean of Cardozo since. Other major assets at Cardozo who contributed to this project include Associate Dean Michael Herz, as well as Cynthia Church, Susan Davis, and Paulette Crowther. My secretaries, Lillian Castanon at Cardozo and Stephanie Boyd at GW, also performed great services.

All the members of my family deserve thanks too, especially my nephew Justin Cunningham, as do many other friends who gave encouragement, including Dana Auslander, Robin Grant, Bill Placke, Michelle Roth, and Deb Skulnik, and old friends and colleagues from Cravath, Swaine & Moore: Joe Adams, Sam Butler, Jeff Hass, Dave Jacquin, Tad O'Connor, Debbie Paul, and Todd Roberts.

My special thanks to all those who joined us at the symposium, especially the wonderful group of panelists whose contributions to the symposium are reflected in part by their provocative papers being published by the *Cardozo Law Review* as part of the symposium. My colleague and co-author at GW Law School, Lew Solomon, chided after the conference that, with the success of this one behind me, I should now retire from organizing conferences. While organizing the conference did entail some effort and a lot of host anxiety, its success was really due to the spontaneous coordination and industry of all the participants. I would be happy to have them all on board for the next one.

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Cigar Butt Investing. A foolish method of investing akin to taking the last puff on a cigar, it is the purchase of a stock at a sufficiently low price that there will be some short-term hiccup to produce a profit, even though the business' long-term performance may be terrible. *See* Part ILF.

Dividend Test. Retention of earnings is only justified if each dollar retained produces at least a one dollar increase in per share market value. *See* Part IILC.

Double-Barreled Acquisition Style. A sensible acquisition policy of buying either 100% of businesses in negotiated acquisitions or less than 100% of businesses in stock market purchases. *See* Part LA.

Institutional Imperative. A pervasive force in organizations that leads to irrational business decisions from resistance to change, absorption of corporate funds in suboptimal projects or acquisitions, indulgence of the cravings of senior executives, and mindless imitation of peer companies. *See* Part II.F.

Intrinsic Value. A hard-to-calculate but crucial measure of business value equal to the discounted present value of the cash that can be taken out of a business during its remaining life. *See* Part V.E.

Look-through Earnings. As an alternative to GAAP accounting rules governing investments in marketable securities of the investee less than 20%, this measures the investor's economic performance in part based on the investor's percentage interest of the investee's undistributed earnings (after an incremental reduction for income taxes). *See* Part V.B.

Margin-of-Safety. Probably the single most important principle of sound and successful investing, Ben Graham's principle says not to purchase a security unless the price being paid is substantially lower than the value being delivered. *See* Part ILD.

Mr. Market. Ben Graham's allegory for the overall stock market, a moody manic-depressive where price and value diverge, making superior intelligent investing possible. *See* Part ILA.

Owner Earnings. A better measure of economic performance than cash flow or GAAP earnings affected by purchase accounting adjustments, equal to *(a)* operating earnings *plus (b)* depreciation and other non-cash charges *minus (c)* required reinvestment in a business to maintain present competitive position and unit volume. *See* Part V.D.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our gain in net worth during 1998 was $25.9 billion, which increased the per-share book value of both our Class A and Class B stock by 48.3%. Over the last 34 years (that is, since present management took over) per-share book value has grown from $19 to $37,801, a rate of 24.7% compounded annually.*

Normally, a gain of 48.3% would call for handsprings — but not this year. Remember Wagner, whose music has been described as better than it sounds? Well, Berkshire's progress in 1998 — though more than satisfactory — was not as good as it looks. That's because most of that 48.3% gain came from our issuing shares in acquisitions.

To explain: Our stock sells at a large premium over book value, which means that any issuing of shares we do — whether for cash or as consideration in a merger — instantly increases our per-share book-value figure, even though we've earned not a dime. What happens is that we get more per-share book value in such transactions than we give up. These transactions, however, do not deliver us any immediate gain in per-share *intrinsic value*, because in this respect what we give and what we get are roughly equal. And, as Charlie Munger, Berkshire's Vice Chairman and my partner, and I can't tell you too often (though you may feel that we try), it's the per-share gain in intrinsic value that counts rather than the per-share gain in book value. Though Berkshire's intrinsic value grew very substantially in 1998, the gain fell well short of the 48.3% recorded for book value. Nevertheless, intrinsic value still *far* exceeds book value. (For a more extensive discussion of these terms, and other investment and accounting concepts, please refer to our Owner's Manual, on pages 56-64, in which we set forth our owner-related business principles. Intrinsic value is discussed on pages 61 and 62.)

We entered 1999 with the best collection of businesses and managers in our history. The two companies we acquired in 1998, General Re and Executive Jet, are first-class in every way — more about both later — and the performance of our operating businesses last year exceeded my hopes. GEICO, once again, simply shot the lights out. On the minus side, several of the public companies in which we have major investments experienced significant operating shortfalls that neither they nor I anticipated early in the year. Consequently, our equity portfolio did not perform nearly as well as did the S&P 500. The problems of these companies are almost certainly temporary, and Charlie and I believe that their long-term prospects are excellent.

In our last three annual reports, we furnished you a table that we regard as central to estimating Berkshire's intrinsic value. In the updated version of that table, which follows, we trace our two key components of value, including General Re on a pro-forma basis as if we had owned it throughout the year. The first column lists our per-share ownership of investments (including cash and equivalents but excluding securities held in our financial products operation) and the second column shows our per-share earnings from Berkshire's operating businesses before taxes and purchase-accounting adjustments (discussed on pages 62 and 63), but after all interest and corporate expenses. The second column excludes *all* dividends, interest and capital gains that we realized from the investments presented in the first column. In effect, the columns show how Berkshire would look if it were split into two parts, with one entity holding our investments and the other operating all of our businesses and bearing all corporate costs.

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*All figures used in this report apply to Berkshire's A shares, the successor to the only stock that the company had outstanding before 1996. The B shares have an economic interest equal to 1/30th that of the A.

Year	Investments Per Share	Pre-tax Earnings Per Share With All Income from Investments Excluded
1968	$ 53	$ 2.87
1978	465	12.85
1988	4,876	145.77
1998	47,647	474.45

Here are the growth rates of the two segments by decade:

Decade Ending	Investments Per Share	Pre-tax Earnings Per Share With All Income from Investments Excluded
1978	24.2%	16.2%
1988	26.5%	27.5%
1998	25.6%	12.5%
Annual Growth Rate, 1968-1998	25.4%	18.6%

During 1998, our investments increased by $9,604 per share, or 25.2%, but per-share operating earnings fell by 33.9%. General Re (included, as noted, on a pro-forma basis) explains both facts. This company has very large investments, and these greatly increased our per-share investment figure. But General Re also had an underwriting loss in 1998, and that hurt operating earnings. Had we not acquired General Re, per-share operating earnings would have shown a modest gain.

Though certain of our acquisitions and operating strategies may from time to time affect one column more than the other, we continually work to increase the figures in both. But one thing is certain: Our future rates of gain will fall far short of those achieved in the past. Berkshire's capital base is now simply too large to allow us to earn truly outsized returns. If you believe otherwise, you should consider a career in sales but avoid one in mathematics (bearing in mind that there are really only three kinds of people in the world: those who can count and those who can't).

Currently we are working to compound a net worth of $57.4 billion, the largest of any American corporation (though our figure will be eclipsed if the merger of Exxon and Mobil takes place). Of course, our lead in net worth does not mean that Berkshire outranks all other businesses in value: Market value is what counts for owners and General Electric and Microsoft, for example, have valuations more than three times Berkshire's. Net worth, though, measures the capital that managers must deploy, and at Berkshire that figure has indeed become huge.

Nonetheless, Charlie and I will do our best to increase intrinsic value in the future at an average rate of 15%, a result we consider to be at the very peak of possible outcomes. We may have years when we exceed 15%, but we will most certainly have other years when we fall far short of that — including years showing negative returns — and those will bring our average down. In the meantime, you should understand just what an average gain of 15% over the next five years implies: It means we will need to increase net worth by $58 billion. Earning this daunting 15% will require us to come up with big ideas: Popcorn stands just won't do. Today's markets are not friendly to our search for "elephants," but you can be sure that we will stay focused on the hunt.

Whatever the future holds, I make you one promise: I'll keep at least 99% of my net worth in Berkshire for as long as I am around. How long will that be? My model is the loyal Democrat in Fort Wayne who asked to be buried in Chicago so that he could stay active in the party. To that end, I've already selected a "power spot" at the office for my urn.

* * * * * * * * * * * *

Our financial growth has been matched by employment growth: We now have 47,566 on our payroll, with the acquisitions of 1998 bringing 7,074 employees to us and internal growth adding another 2,500. To balance this gain

of 9,500 in hands-on employees, we have enlarged the staff at world headquarters from 12 to 12.8. (The .8 doesn't refer to me or Charlie: We have a new person in accounting, working four days a week.) Despite this alarming trend toward corporate bloat, our after-tax overhead last year was about $3.5 million, or well under one basis point (.01 of 1%) of the value of the assets we manage.

Taxes

One beneficiary of our increased size has been the U.S. Treasury. The federal income taxes that Berkshire and General Re have paid, or will soon pay, in respect to 1998 earnings total $2.7 billion. That means we shouldered *all* of the U.S. Government's expenses for more than a half-day.

Follow that thought a little further: If only 625 other U.S. taxpayers had paid the Treasury as much as we and General Re did last year, no one else — neither corporations nor 270 million citizens — would have had to pay federal income taxes or any other kind of federal tax (for example, social security or estate taxes). Our shareholders can truly say that they "gave at the office."

Writing checks to the IRS that include strings of zeros does not bother Charlie or me. Berkshire as a corporation, and we as individuals, have prospered in America as we would have in no other country. Indeed, if we lived in some other part of the world and completely escaped taxes, I'm sure we would be worse off financially (and in many other ways as well). Overall, we feel extraordinarily lucky to have been dealt a hand in life that enables us to write large checks to the government rather than one requiring the government to regularly write checks to us — say, because we are disabled or unemployed.

Berkshire's tax situation is sometimes misunderstood. First, capital gains have no special attraction for us: A corporation pays a 35% rate on taxable income, whether it comes from capital gains or from ordinary operations. This means that Berkshire's tax on a long-term capital gain is fully 75% higher than what an individual would pay on an identical gain.

Some people harbor another misconception, believing that we can exclude 70% of all dividends we receive from our taxable income. Indeed, the 70% rate applies to most corporations and also applies to Berkshire in cases where we hold stocks in non-insurance subsidiaries. However, almost all of our equity investments are owned by our insurance companies, and in that case the exclusion is 59.5%. That still means a dollar of dividends is considerably more valuable to us than a dollar of ordinary income, but not to the degree often assumed.

* * * * * * * * * * * *

Berkshire truly went all out for the Treasury last year. In connection with the General Re merger, we wrote a $30 million check to the government to pay an SEC fee tied to the new shares created by the deal. We understand that this payment set an SEC record. Charlie and I are enormous admirers of what the Commission has accomplished for American investors. We would rather, however, have found another way to show our admiration.

GEICO (1-800-847-7536)

Combine a great idea with a great manager and you're certain to obtain a great result. That mix is alive and well at GEICO. The idea is low-cost auto insurance, made possible by direct-to-customer marketing, and the manager is Tony Nicely. Quite simply, there is no one in the business world who could run GEICO better than Tony does. His instincts are unerring, his energy is boundless, and his execution is flawless. While maintaining underwriting discipline, Tony is building an organization that is gaining market share at an accelerating rate.

This pace has been encouraged by our compensation policies. The direct writing of insurance — that is, without there being an agent or broker between the insurer and its policyholder — involves a substantial front-end investment. First-year business is therefore unprofitable in a major way. At GEICO, we do not wish this cost to deter our associates from the aggressive pursuit of new business — which, as it renews, will deliver significant profits — so we leave it out of our compensation formulas. What's included then? We base 50% of our associates' bonuses and profit sharing on

the earnings of our "seasoned" book, meaning policies that have been with us for more than a year. The other 50% is tied to growth in policyholders — and here we have stepped on the gas.

In 1995, the year prior to its acquisition by Berkshire, GEICO spent $33 million on marketing and had 652 telephone counselors. Last year the company spent $143 million, and the counselor count grew to 2,162. The effects that these efforts had at the company are shown by the new business and in-force figures below:

Years	New Auto Policies*	Auto Policies In-Force*
1993	354,882	2,011,055
1994	396,217	2,147,549
1995	461,608	2,310,037
1996	617,669	2,543,699
1997	913,176	2,949,439
1998	1,317,761	3,562,644

* "Voluntary" only; excludes assigned risks and the like.

In 1999, we will again increase our marketing budget, spending at least $190 million. In fact, there is no limit to what Berkshire is willing to invest in GEICO's new-business activity, as long as we can concurrently build the infrastructure the company needs to properly serve its policyholders.

Because of the first-year costs, companies that are concerned about quarterly or annual earnings would shy from similar investments, no matter how intelligent these might be in terms of building long-term value. Our calculus is different: We simply measure whether we are creating more than a dollar of value per dollar spent — and if that calculation is favorable, the more dollars we spend the happier I am.

There is far more to GEICO's success, of course, than low prices and a torrent of advertising. The handling of claims must also be fair, fast and friendly — and ours is. Here's an impartial scorecard on how we shape up: In New York, our largest-volume state, the Insurance Department recently reported that GEICO's complaint ratio in 1997 was not only the lowest of the five largest auto insurers but was also less than half the average of the other four.

GEICO's 1998 profit margin of 6.7% was better than we had anticipated — and, indeed, better than we wished. Our results reflect an industry-wide phenomenon: In recent years, both the frequency of auto accidents and their severity have unexpectedly declined. We responded by reducing rates 3.3% in 1998, and we will reduce them still more in 1999. These moves will soon bring profit margins down — at the least to 4%, which is our target, and perhaps considerably lower. Whatever the case, we believe that our margins will continue to be much better than those of the industry.

With GEICO's growth and profitability both outstanding in 1998, so also were its profit-sharing and bonus payments. Indeed, the profit-sharing payment of $103 million or 32.3% of salary — which went to all 9,313 associates who had been with us for more than a year — may well have been the highest percentage payment at any large company in the country. (In addition, associates benefit from a company-funded pension plan.)

The 32.3% may turn out to be a high-water mark, given that the profitability component in our profit-sharing calculation is almost certain to come down in the future. The growth component, though, may well increase. Overall, we expect the two benchmarks together to dictate very significant profit-sharing payments for decades to come. For our associates, growth pays off in other ways as well: Last year we promoted 4,612 people.

Impressive as the GEICO figures are, we have far more to do. Our market share improved significantly in 1998 — but only from 3% to 3½%. For every policyholder we now have, there are another ten who should be giving us their business.

Some of you who are reading this may be in that category. About 40% of those who check our rates find that they can save money by doing business with us. The proportion is not 100% because insurers differ in their underwriting judgements, with some giving more credit than we do to drivers who live in certain geographical areas or work at certain occupations. We believe, however, that we more frequently offer the low price than does any other national carrier

selling insurance to all comers. Furthermore, in 40 states we can offer a special discount — usually 8% — to our shareholders. So give us a call and check us out.

* * * * * * * * * * * *

You may think that one commercial in this section is enough. But I have another to present, this one directed at managers of publicly-owned companies.

At Berkshire we feel that telling outstanding CEOs, such as Tony, how to run their companies would be the height of foolishness. Most of our managers wouldn't work for us if they got a lot of backseat driving. (Generally, they don't have to work for *anyone*, since 75% or so are independently wealthy.) Besides, they are the Mark McGwires of the business world and need no advice from us as to how to hold the bat or when to swing.

Nevertheless, Berkshire's ownership may make even the best of managers more effective. First, we eliminate all of the ritualistic and nonproductive activities that normally go with the job of CEO. Our managers are totally in charge of their personal schedules. Second, we give each a simple mission: Just run your business as if: 1) you own 100% of it; 2) it is the only asset in the world that you and your family have or will ever have; and 3) you can't sell or merge it for at least a century. As a corollary, we tell them they should not let any of their decisions be affected even slightly by accounting considerations. We want our managers to think about what counts, not how it will be counted.

Very few CEOs of public companies operate under a similar mandate, mainly because they have owners who focus on short-term prospects and reported earnings. Berkshire, however, has a shareholder base — which it will have for decades to come — that has the longest investment horizon to be found in the public-company universe. Indeed, a majority of our shares are held by investors who expect to die still holding them. We can therefore ask our CEOs to manage for maximum long-term value, rather than for next quarter's earnings. We certainly don't ignore the current results of our businesses — in most cases, they are of great importance — but we *never* want them to be achieved at the expense of our building ever-greater competitive strengths.

I believe the GEICO story demonstrates the benefits of Berkshire's approach. Charlie and I haven't taught Tony a thing — and never will — but we *have* created an environment that allows him to apply all of his talents to what's important. He does not have to devote his time or energy to board meetings, press interviews, presentations by investment bankers or talks with financial analysts. Furthermore, he need never spend a moment thinking about financing, credit ratings or "Street" expectations for earnings per share. Because of our ownership structure, he also knows that this operational framework will endure for decades to come. In this environment of freedom, both Tony and his company can convert their almost limitless potential into matching achievements.

If you are running a large, profitable business that will thrive in a GEICO-like environment, check our acquisition criteria on page 21 and give me a call. I promise a fast answer and will mention your inquiry to no one except Charlie.

Executive Jet Aviation (1-800-848-6436)

To understand the huge potential at Executive Jet Aviation (EJA), you need some understanding of its business, which is selling fractional shares of jets and operating the fleet for its many owners. Rich Santulli, CEO of EJA, created the fractional ownership industry in 1986, by visualizing an important new way of using planes. Then he combined guts and talent to turn his idea into a major business.

In a fractional ownership plan, you purchase a portion — say $^1/_8$th — of any of a wide variety of jets that EJA offers. That purchase entitles you to 100 hours of flying time annually. ("Dead-head" hours don't count against your allotment, and you are also allowed to average your hours over five years.) In addition, you pay both a monthly management fee and a fee for hours actually flown.

Then, on a few hours notice, EJA makes your plane, or another at least as good, available to you at your choice of the 5500 airports in the U.S. In effect, calling up your plane is like phoning for a taxi.

I first heard about the NetJets® program, as it is called, about four years ago from Frank Rooney, our manager at H.H. Brown. Frank had used and been delighted with the service and suggested that I meet Rich to investigate signing up for my family's use. It took Rich about 15 minutes to sell me a quarter (200 hours annually) of a Hawker 1000. Since then, my family has learned firsthand — through flying 900 hours on 300 trips — what a friendly, efficient, and safe operation EJA runs. Quite simply, they love this service. In fact, they quickly grew so enthusiastic that I did a testimonial ad for EJA long before I knew there was any possibility of our purchasing the business. I did, however, ask Rich to give me a call if he ever got interested in selling. Luckily, he phoned me last May, and we quickly made a $725 million deal, paying equal amounts of cash and stock.

EJA, which is by far the largest operator in its industry, has more than 1,000 customers and 163 aircraft (including 23 "core" aircraft that are owned or leased by EJA itself, so that it can make sure that service is first-class even during the times when demand is heaviest). Safety, of course, is the paramount issue in any flight operation, and Rich's pilots — now numbering about 650 — receive extensive training at least twice a year from FlightSafety International, another Berkshire subsidiary and the world leader in pilot training. The bottom line on our pilots: I've sold the Berkshire plane and will now do all of my business flying, as well as my personal flying, with NetJets' crews.

Being the leader in this industry is a major advantage for all concerned. Our customers gain because we have an armada of planes positioned throughout the country at all times, a blanketing that allows us to provide unmatched service. Meanwhile, we gain from the blanketing because it reduces dead-head costs. Another compelling attraction for our clients is that we offer products from Boeing, Gulfstream, Falcon, Cessna, and Raytheon, whereas our two competitors are owned by manufacturers that offer only their own planes. In effect, NetJets is like a physician who can recommend whatever medicine best fits the needs of each patient; our competitors, in contrast, are producers of a "house" brand that they must prescribe for one and all.

In many cases our clients, both corporate and individual, own fractions of several different planes and can therefore match specific planes to specific missions. For example, a client might own $^{1}/_{16}$th of three different jets (each giving it 50 hours of flying time), which in total give it a virtual fleet, obtained for a small fraction of the cost of a single plane.

Significantly, it is not only small businesses that can benefit from fractional ownership. Already, some of America's largest companies use NetJets as a supplement to their own fleet. This saves them big money in both meeting peak requirements and in flying missions that would require their wholly-owned planes to log a disproportionate amount of dead-head hours.

When a plane is slated for personal use, the clinching argument is that either the client signs up now or his children likely will later. That's an equation I explained to my wonderful Aunt Alice 40 years ago when she asked me whether she could afford a fur coat. My reply settled the issue: "Alice, *you* aren't buying it; your heirs are."

EJA's growth has been explosive: In 1997, it accounted for 31% of all corporate jets ordered in the world. Nonetheless, Rich and I believe that the potential of fractional ownership has barely been scratched. If many thousands of owners find it sensible to own 100% of a plane — which must be used 350-400 hours annually if it's to make economic sense — there must be a large multiple of that number for whom fractional ownership works.

In addition to being a terrific executive, Rich is fun. Like most of our managers, he has no economic need whatsoever to work. Rich spends his time at EJA because it's his baby — and he wants to see how far he can take it. We both already know the answer, both literally and figuratively: to the ends of the earth.

* * * * * * * * * * * *

And now a small hint to Berkshire directors: Last year I spent more than nine times my salary at Borsheim's and EJA. Just think how Berkshire's business would boom if you'd only spring for a raise.

General Re

On December 21, we completed our $22 billion acquisition of General Re Corp. In addition to owning 100% of General Reinsurance Corporation, the largest U.S. property-casualty reinsurer, the company also owns (including stock it has an arrangement to buy) 82% of the oldest reinsurance company in the world, Cologne Re. The two companies together reinsure all lines of insurance and operate in 124 countries.

For many decades, General Re's name has stood for quality, integrity and professionalism in reinsurance — and under Ron Ferguson's leadership, this reputation has been burnished still more. Berkshire can add absolutely nothing to the skills of General Re's and Cologne Re's managers. On the contrary, there is a lot that they can teach us.

Nevertheless, we believe that Berkshire's ownership will benefit General Re in important ways and that its earnings a decade from now will materially exceed those that would have been attainable absent the merger. We base this optimism on the fact that we can offer General Re's management a freedom to operate in whatever manner will best allow the company to exploit its strengths.

Let's look for a moment at the reinsurance business to understand why General Re could not on its own do what it can under Berkshire. Most of the demand for reinsurance comes from primary insurers who want to escape the wide swings in earnings that result from large and unusual losses. In effect, a reinsurer gets paid for absorbing the volatility that the client insurer wants to shed.

Ironically, though, a publicly-held reinsurer gets graded by both its owners and those who evaluate its credit on the smoothness of its own results. Wide swings in earnings hurt both credit ratings and p/e ratios, even when the business that produces such swings has an expectancy of satisfactory profits over time. This market reality sometimes causes a reinsurer to make costly moves, among them laying off a significant portion of the business it writes (in transactions that are called "retrocessions") or rejecting good business simply because it threatens to bring on too much volatility.

Berkshire, in contrast, happily accepts volatility, just as long as it carries with it the expectation of increased profits over time. Furthermore, we are a Fort Knox of capital, and that means volatile earnings can't impair our premier credit ratings. Thus we have the perfect structure for writing — and *retaining* — reinsurance in virtually any amount. In fact, we've used this strength over the past decade to build a powerful super-cat business.

What General Re gives us, however, is the distribution force, technical facilities and management that will allow us to employ our structural strength in every facet of the industry. In particular, General Re and Cologne Re can now accelerate their push into international markets, where the preponderance of industry growth will almost certainly occur. As the merger proxy statement spelled out, Berkshire also brings tax and investment benefits to General Re. But the most compelling reason for the merger is simply that General Re's outstanding management can now do what it does best, unfettered by the constraints that have limited its growth.

Berkshire is assuming responsibility for General Re's investment portfolio, though not for Cologne Re's. We will not, however, be involved in General Re's underwriting. We will simply ask the company to exercise the discipline of the past while increasing the proportion of its business that is retained, expanding its product line, and widening its geographical coverage — making these moves in recognition of Berkshire's financial strength and tolerance for wide swings in earnings. As we've long said, we prefer a lumpy 15% return to a smooth 12%.

Over time, Ron and his team will maximize General Re's new potential. He and I have known each other for many years, and each of our companies has initiated significant business that it has reinsured with the other. Indeed, General Re played a key role in the resuscitation of GEICO from its near-death status in 1976.

Both Ron and Rich Santulli plan to be at the annual meeting, and I hope you get a chance to say hello to them.

The Economics of Property-Casualty Insurance

With the acquisition of General Re — and with GEICO's business mushrooming — it becomes more important than ever that you understand how to evaluate an insurance company. The key determinants are: (1) the amount of float that the business generates; (2) its cost; and (3) most important of all, the long-term outlook for both of these factors.

To begin with, float is money we hold but don't own. In an insurance operation, float arises because premiums are received before losses are paid, an interval that sometimes extends over many years. During that time, the insurer invests the money. Typically, this pleasant activity carries with it a downside: The premiums that an insurer takes in usually do not cover the losses and expenses it eventually must pay. That leaves it running an "underwriting loss," which is the cost of float. An insurance business has value if its cost of float over time is less than the cost the company would otherwise incur to obtain funds. But the business is a lemon if its cost of float is higher than market rates for money.

A caution is appropriate here: Because loss costs must be estimated, insurers have enormous latitude in figuring their underwriting results, and that makes it very difficult for investors to calculate a company's true cost of float. Errors of estimation, usually innocent but sometimes not, can be huge. The consequences of these miscalculations flow directly into earnings. An experienced observer can usually detect large-scale errors in reserving, but the general public can typically do no more than accept what's presented, and at times I have been amazed by the numbers that big-name auditors have implicitly blessed. As for Berkshire, Charlie and I attempt to be conservative in presenting its underwriting results to you, because we have found that virtually all surprises in insurance are unpleasant ones.

The table that follows shows the float generated by Berkshire's insurance operations since we entered the business 32 years ago. The data are for every fifth year and also the last, which includes General Re's huge float. For the table we have calculated our float — which we generate in large amounts relative to our premium volume — by adding net loss reserves, loss adjustment reserves, funds held under reinsurance assumed and unearned premium reserves, and then subtracting agents balances, prepaid acquisition costs, prepaid taxes and deferred charges applicable to assumed reinsurance. (Got that?)

Year	Average Float (in $ millions)
1967	17
1972	70
1977	139
1982	221
1987	1,267
1992	2,290
1997	7,093
1998	22,762 (yearend)

Impressive as the growth in our float has been — 25.4% compounded annually — what really counts is the cost of this item. If that becomes too high, growth in float becomes a curse rather than a blessing.

At Berkshire, the news is all good: Our average cost over the 32 years has been well under zero. In aggregate, we have posted a substantial underwriting profit, which means that we have been paid for holding a large and growing amount of money. This is the best of all worlds. Indeed, though our net float is recorded on our balance sheet as a liability, it has had more economic value to us than an equal amount of net worth would have had. As long as we can continue to achieve an underwriting profit, float will continue to outrank net worth in value.

During the next few years, Berkshire's growth in float may well be modest. The reinsurance market is soft, and in this business, relationships change slowly. Therefore, General Re's float — $^{2}/_{3}$rds of our total — is unlikely to increase significantly in the near term. We do expect, however, that our cost of float will remain very attractive compared to that of other insurers.

Sources of Reported Earnings

The table that follows shows the main sources of Berkshire's reported earnings. In this presentation, purchase-accounting adjustments are not assigned to the specific businesses to which they apply, but are instead aggregated and shown separately. This procedure lets you view the earnings of our businesses as they would have been reported had we not purchased them. For the reasons discussed on pages 62 and 63, this form of presentation seems to us to be more useful to investors and managers than one utilizing generally-accepted accounting principles (GAAP), which require purchase-premiums to be charged off business-by-business. The total earnings we show in the table are, of course, identical to the GAAP total in our audited financial statements.

	(in millions)			
	Pre-Tax Earnings		*Berkshire's Share of Net Earnings (after taxes and minority interests)*	
	1998	*1997*	*1998*	*1997*
Operating Earnings:				
Insurance Group:				
Underwriting — Super-Cat	$154	$283	$100	$183
Underwriting — Other Reinsurance	(175)	(155)	(114)	(100)
Underwriting — GEICO	269	281	175	181
Underwriting — Other Primary	17	53	10	34
Net Investment Income	974	882	731	704
Buffalo News	53	56	32	33
Finance and Financial Products Businesses	205	28	133	18
Flight Services	181[1]	140[2]	110[1]	84[2]
Home Furnishings	72	57	41	32
International Dairy Queen	58	—	35	—
Jewelry	39	32	23	18
Scott Fetzer (excluding finance operation)	137	119	85	77
See's Candies	62	59	40	35
Shoe Group	33	49	23	32
General Re	26[3]	—	16[3]	—
Purchase-Accounting Adjustments	(123)	(101)	(118)	(94)
Interest Expense [4]	(100)	(107)	(63)	(67)
Shareholder-Designated Contributions	(17)	(15)	(11)	(10)
Other	34	60	29	37
Operating Earnings	1,899	1,721	1,277	1,197
Capital Gains from Investments	2,415	1,106	1,553	704
Total Earnings - All Entities	$4,314	$2,827	$ 2,830	$1,901

[1] Includes Executive Jet from August 7, 1998 .
[2] Includes Star Furniture from July 1, 1997.
[3] From date of acquisition, December 21, 1998.
[4] Excludes interest expense of Finance Businesses.

You can be proud of our operating managers. They almost invariably deliver earnings that are at the very top of what conditions in their industries allow, meanwhile fortifying their businesses' long-term competitive strengths. In aggregate, they have created many billions of dollars of value for you.

An example: In my 1994 letter, I reported on Ralph Schey's extraordinary performance at Scott Fetzer. Little did I realize that he was just warming up. Last year Scott Fetzer, operating with no leverage (except for a conservative level of debt in its finance subsidiary), earned a record $96.5 million after-tax on its $112 million net worth.

Today, Berkshire has an unusually large number of individuals, such as Ralph, who are truly legends in their industries. Many of these joined us when we purchased their companies, but in recent years we have also identified a number of strong managers internally. We further expanded our corps of all-stars in an important way when we acquired General Re and EJA.

Charlie and I have the easy jobs at Berkshire: We do very little except allocate capital. And, even then, we are not all that energetic. We have one excuse, though: In allocating capital, activity does not correlate with achievement. Indeed, in the fields of investments and acquisitions, frenetic behavior is often counterproductive. Therefore, Charlie and I mainly just wait for the phone to ring.

Our managers, however, work very hard — and it shows. Naturally, they want to be paid fairly for their efforts, but pay alone can't explain their extraordinary accomplishments. Instead, each is primarily motivated by a vision of just how far his or her business can go — and by a desire to be the one who gets it there. Charlie and I thank them on your behalf and ours.

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Additional information about our various businesses is given on pages 39-53, where you will also find our segment earnings reported on a GAAP basis. In addition, on pages 65-71, we have rearranged Berkshire's financial data into four segments on a non-GAAP basis, a presentation that corresponds to the way Charlie and I think about the company.

Normally, we follow this section with one on "Look-Through" Earnings. Because the General Re acquisition occurred near yearend, though, neither a historical nor a pro-forma calculation of a 1998 number seems relevant. We will resume the look-through calculation in next year's report.

Investments

Below we present our common stock investments. Those with a market value of more than $750 million are itemized.

		12/31/98	
Shares	*Company*	*Cost**	*Market*
		(dollars in millions)	
50,536,900	American Express Company	$1,470	$ 5,180
200,000,000	The Coca-Cola Company	1,299	13,400
51,202,242	The Walt Disney Company	281	1,536
60,298,000	Freddie Mac	308	3,885
96,000,000	The Gillette Company	600	4,590
1,727,765	The Washington Post Company	11	999
63,595,180	Wells Fargo & Company	392	2,540
	Others	2,683	5,135
	Total Common Stocks	$ 7,044	$ 37,265

* Represents tax-basis cost which, in aggregate, is $1.5 billion less than GAAP cost.

During the year, we slightly increased our holdings in American Express, one of our three largest commitments, and left the other two unchanged. However, we trimmed or substantially cut many of our smaller positions. Here, I need to make a confession (ugh): The portfolio actions I took in 1998 actually *decrease*d our gain for the year. In particular, my decision to sell McDonald's was a very big mistake. Overall, you would have been better off last year if I had regularly snuck off to the movies during market hours.

At yearend, we held more than $15 billion in cash equivalents (including high-grade securities due in less than one year). Cash never makes us happy. But it's better to have the money burning a hole in Berkshire's pocket than resting comfortably in someone else's. Charlie and I will continue our search for large equity investments or, better yet, a really major business acquisition that would absorb our liquid assets. Currently, however, we see nothing on the horizon.

Once we knew that the General Re merger would definitely take place, we asked the company to dispose of the equities that it held. (As mentioned earlier, we do not manage the Cologne Re portfolio, which includes many equities.) General Re subsequently eliminated its positions in about 250 common stocks, incurring $935 million of taxes in the process. This "clean sweep" approach reflects a basic principle that Charlie and I employ in business and investing: We don't back into decisions.

Last year I deviated from my standard practice of not disclosing our investments (other than those we are legally required to report) and told you about three unconventional investments we had made. There were several reasons behind that disclosure. First, questions about our silver position that we had received from regulatory authorities led us to believe that they wished us to publicly acknowledge this investment. Second, our holdings of zero-coupon bonds were so large that we wanted our owners to know of this investment's potential impact on Berkshire's net worth. Third, we simply wanted to alert you to the fact that we sometimes *do* make unconventional commitments.

Normally, however, as discussed in the Owner's Manual on page 61, we see no advantage in talking about specific investment actions. Therefore — unless we again take a position that is particularly large — we will not post you as to what we are doing in respect to any specific holding of an unconventional sort. We can report, however, that we have eliminated certain of the positions discussed last year and added certain others.

Our never-comment-even-if-untrue policy in regard to investments may disappoint "piggybackers" but will benefit owners: Your Berkshire shares would be worth less if we discussed what we are doing. Incidentally, we should warn you that media speculation about our investment moves continues in most cases to be incorrect. People who rely on such commentary do so at their own peril.

Accounting — Part 1

Our General Re acquisition put a spotlight on an egregious flaw in accounting procedure. Sharp-eyed shareholders reading our proxy statement probably noticed an unusual item on page 60. In the pro-forma statement of income — which detailed how the combined 1997 earnings of the two entities would have been affected by the merger — there was an item stating that compensation expense would have been increased by $63 million.

This item, we hasten to add, does not signal that either Charlie or I have experienced a major personality change. (He still travels coach and quotes Ben Franklin.) Nor does it indicate any shortcoming in General Re's accounting practices, which have followed GAAP to the letter. Instead, the pro-forma adjustment came about because we are replacing General Re's longstanding stock option plan with a cash plan that ties the incentive compensation of General Re managers to their operating achievements. Formerly what counted for these managers was General Re's stock price; now their payoff will come from the business performance they deliver.

The new plan and the terminated option arrangement have matching economics, which means that the rewards they deliver to employees should, for a given level of performance, be the same. But what these people could have formerly anticipated earning from new option grants will now be paid in cash. (Options granted in past years remain outstanding.)

Though the two plans are an economic wash, the cash plan we are putting in will produce a vastly different accounting result. This Alice-in-Wonderland outcome occurs because existing accounting principles ignore the cost of stock options when earnings are being calculated, even though options are a huge and increasing expense at a great many corporations. In effect, accounting principles offer management a choice: Pay employees in one form and count the cost, or pay them in another form and ignore the cost. Small wonder then that the use of options

has mushroomed. This lop-sided choice has a big downside for owners, however: Though options, if properly structured, can be an appropriate, *and even ideal*, way to compensate and motivate top managers, they are more often wildly capricious in their distribution of rewards, inefficient as motivators, and inordinately expensive for shareholders.

Whatever the merits of options may be, their accounting treatment is outrageous. Think for a moment of that $190 million we are going to spend for advertising at GEICO this year. Suppose that instead of paying cash for our ads, we paid the media in ten-year, at-the-market Berkshire options. Would anyone then care to argue that Berkshire had not borne a cost for advertising, or should not be charged this cost on its books?

Perhaps Bishop Berkeley — you may remember him as the philosopher who mused about trees falling in a forest when no one was around — would believe that an expense unseen by an accountant does not exist. Charlie and I, however, have trouble being philosophical about unrecorded costs. When we consider investing in an option-issuing company, we make an appropriate downward adjustment to reported earnings, simply subtracting an amount equal to what the company could have realized by publicly selling options of like quantity and structure. Similarly, if we contemplate an acquisition, we include in our evaluation the cost of replacing any option plan. Then, if we make a deal, we promptly take that cost out of hiding.

Readers who disagree with me about options will by this time be mentally quarreling with my equating the cost of options issued to employees with those that might theoretically be sold and traded publicly. It is true, to state one of these arguments, that employee options are sometimes forfeited — that lessens the damage done to shareholders — whereas publicly-offered options would not be. It is true, also, that companies receive a tax deduction when employee options are exercised; publicly-traded options deliver no such benefit. But there's an offset to these points: Options issued to employees are often repriced, a transformation that makes them much more costly than the public variety.

It's sometimes argued that a non-transferable option given to an employee is less valuable to him than would be a publicly-traded option that he could freely sell. That fact, however, does not reduce the *cost* of the non-transferable option: Giving an employee a company car that can only be used for certain purposes diminishes its value to the employee, but does not in the least diminish its cost to the employer.

The earning revisions that Charlie and I have made for options in recent years have frequently cut the reported per-share figures by 5%, with 10% not all that uncommon. On occasion, the downward adjustment has been so great that it has affected our portfolio decisions, causing us either to make a sale or to pass on a stock purchase we might otherwise have made.

A few years ago we asked three questions in these pages to which we have not yet received an answer: "If options aren't a form of compensation, what are they? If compensation isn't an expense, what is it? And, if expenses shouldn't go into the calculation of earnings, where in the world should they go?"

Accounting — Part 2

The role that managements have played in stock-option accounting has hardly been benign: A distressing number of both CEOs and auditors have in recent years bitterly fought FASB's attempts to replace option fiction with truth and virtually none have spoken out in support of FASB. Its opponents even enlisted Congress in the fight, pushing the case that inflated figures were in the national interest.

Still, I believe that the behavior of managements has been even worse when it comes to restructurings and merger accounting. Here, many managements purposefully work at manipulating numbers and deceiving investors. And, as Michael Kinsley has said about Washington: "The scandal isn't in what's done that's *illegal* but rather in what's *legal*."

It was once relatively easy to tell the good guys in accounting from the bad: The late 1960's, for example, brought on an orgy of what one charlatan dubbed "bold, imaginative accounting" (the practice of which, incidentally, made him loved for a time by Wall Street because he never missed expectations). But most investors

of that period knew who was playing games. And, to their credit, virtually all of America's most-admired companies then shunned deception.

In recent years, probity has eroded. Many major corporations still play things straight, but a significant and growing number of otherwise high-grade managers — CEOs you would be happy to have as spouses for your children or as trustees under your will — have come to the view that it's okay to manipulate earnings to satisfy what they believe are Wall Street's desires. Indeed, many CEOs think this kind of manipulation is not only okay, but actually their *duty*.

These managers start with the assumption, all too common, that their job at all times is to encourage the highest stock price possible (a premise with which we adamantly disagree). To pump the price, they strive, admirably, for operational excellence. But when operations don't produce the result hoped for, these CEOs resort to unadmirable accounting stratagems. These either manufacture the desired "earnings" or set the stage for them in the future.

Rationalizing this behavior, these managers often say that their shareholders will be hurt if their currency for doing deals — that is, their stock — is not fully-priced, and they also argue that in using accounting shenanigans to get the figures they want, they are only doing what everybody else does. Once such an everybody's-doing-it attitude takes hold, ethical misgivings vanish. Call this behavior Son of Gresham: Bad accounting drives out good.

The distortion *du jour* is the "restructuring charge," an accounting entry that can, of course, be legitimate but that too often is a device for manipulating earnings. In this bit of legerdemain, a large chunk of costs that should properly be attributed to a number of years is dumped into a single quarter, typically one already fated to disappoint investors. In some cases, the purpose of the charge is to clean up earnings misrepresentations of the past, and in others it is to prepare the ground for future misrepresentations. In either case, the size and timing of these charges is dictated by the cynical proposition that Wall Street will not mind if earnings fall short by $5 per share in a given quarter, just as long as this deficiency ensures that quarterly earnings in the future will consistently exceed expectations by five cents per share.

This dump-everything-into-one-quarter behavior suggests a corresponding "bold, imaginative" approach to — golf scores. In his first round of the season, a golfer should ignore his actual performance and simply fill his card with atrocious numbers — double, triple, quadruple bogeys — and then turn in a score of, say, 140. Having established this "reserve," he should go to the golf shop and tell his pro that he wishes to "restructure" his imperfect swing. Next, as he takes his new swing onto the course, he should count his good holes, but not the bad ones. These remnants from his old swing should be charged instead to the reserve established earlier. At the end of five rounds, then, his record will be 140, 80, 80, 80, 80 rather than 91, 94, 89, 94, 92. On Wall Street, they will ignore the 140 — which, after all, came from a "discontinued" swing — and will classify our hero as an 80 shooter (and one who *never* disappoints).

For those who prefer to cheat up front, there would be a variant of this strategy. The golfer, playing alone with a cooperative caddy-auditor, should defer the recording of bad holes, take four 80s, accept the plaudits he gets for such athleticism and consistency, and then turn in a fifth card carrying a 140 score. After rectifying his earlier scorekeeping sins with this "big bath," he may mumble a few apologies but will refrain from returning the sums he has previously collected from comparing scorecards in the clubhouse. (The caddy, need we add, will have acquired a loyal patron.)

Unfortunately, CEOs who use variations of these scoring schemes in real life tend to become addicted to the games they're playing — after all, it's easier to fiddle with the scorecard than to spend hours on the practice tee — and never muster the will to give them up. Their behavior brings to mind Voltaire's comment on sexual experimentation: "Once a philosopher, twice a pervert."

In the acquisition arena, restructuring has been raised to an art form: Managements now frequently use mergers to dishonestly rearrange the value of assets and liabilities in ways that will allow them to both smooth and swell future earnings. Indeed, at deal time, major auditing firms sometimes point out the possibilities for a little accounting magic (or for a lot). Getting this push from the pulpit, first-class people will frequently stoop

to third-class tactics. CEOs understandably do not find it easy to reject auditor-blessed strategies that lead to increased future "earnings."

An example from the property-casualty insurance industry will illuminate the possibilities. When a p-c company is acquired, the buyer sometimes simultaneously increases its loss reserves, often substantially. This boost may merely reflect the previous inadequacy of reserves — though it is uncanny how often an actuarial "revelation" of this kind coincides with the inking of a deal. In any case, the move sets up the possibility of 'earnings" flowing into income at some later date, as reserves are released.

Berkshire has kept entirely clear of these practices: If we are to disappoint you, we would rather it be with our earnings than with our accounting. In all of our acquisitions, we have left the loss reserve figures exactly as we found them. After all, we have consistently joined with insurance managers knowledgeable about their business and honest in their financial reporting. When deals occur in which liabilities are increased immediately and substantially, simple logic says that at least one of those virtues must have been lacking — or, alternatively, that the acquirer is laying the groundwork for future infusions of "earnings."

Here's a true story that illustrates an all-too-common view in corporate America. The CEOs of two large banks, one of them a man who'd made many acquisitions, were involved not long ago in a friendly merger discussion (which in the end didn't produce a deal). The veteran acquirer was expounding on the merits of the possible combination, only to be skeptically interrupted by the other CEO: "But won't that mean a huge charge," he asked, "perhaps as much as $1 billion?" The "sophisticate" wasted no words: "We'll make it bigger than that — that's why we're doing the deal."

A preliminary tally by R. G. Associates, of Baltimore, of special charges taken or announced during 1998 — that is, charges for restructuring, in-process R&D, merger-related items, and write-downs — identified no less than 1,369 of these, totaling $72.1 billion. That is a staggering amount as evidenced by this bit of perspective: The 1997 earnings of the 500 companies in Fortune's famous list totaled $324 billion.

Clearly the attitude of disrespect that many executives have today for accurate reporting is a business disgrace. And auditors, as we have already suggested, have done little on the positive side. Though auditors *should* regard the investing public as their client, they tend to kowtow instead to the managers who choose them and dole out their pay. ("Whose bread I eat, his song I sing.")

A big piece of news, however, is that the SEC, led by its chairman, Arthur Levitt, seems determined to get corporate America to clean up its act. In a landmark speech last September, Levitt called for an end to "earnings management." He correctly observed, "Too many corporate managers, auditors and analysts are participants in a game of nods and winks." And then he laid on a real indictment: "Managing may be giving way to manipulating; integrity may be losing out to illusion."

I urge you to read the Chairman's speech (you can find it on the Internet at www.sec.gov) and to support him in his efforts to get corporate America to deliver a straight story to its owners. Levitt's job will be Herculean, but it is hard to think of another more important for him to take on.

Reports to Shareholders

Berkshire's Internet site, www.berkshirehathaway.com, has become a prime source for information about the company. While we continue to send an annual report to all shareholders, we now send quarterlies only to those who request them, letting others read these at our site. In this report, we again enclose a card that can be returned by those wanting to get printed quarterlies in 1999.

Charlie and I have two simple goals in reporting: 1) We want to give you the information that we would wish you to give us if our positions were reversed; and 2) We want to make Berkshire's information accessible to all of you simultaneously. Our ability to reach that second goal is greatly helped by the Internet.

In another portion of his September speech, Arthur Levitt deplored what he called "selective disclosure." His remarks were timely: Today, many companies matter-of-factly favor Wall Street analysts and institutional

investors in a variety of ways that often skirt or cross the line of unfairness. These practices leave the great bulk of shareholders at a distinct disadvantage to a favored class.

At Berkshire, we regard the holder of one share of B stock as the equal of our large institutional investors. We, of course, warmly welcome institutions as owners and have gained a number of them through the General Re merger. We hope also that these new holders find that our owner's manual and annual reports offer them more insights and information about Berkshire than they garner about other companies from the investor relations departments that these corporations typically maintain. But if it is "earnings guidance" or the like that shareholders or analysts seek, we will simply guide them to our public documents.

This year we plan to post our quarterly reports on the Internet after the close of the market on May 14, August 13, and November 12. We also expect to put the 1999 annual report on our website on Saturday, March 11, 2000, and to mail the print version at roughly the same time.

We promptly post press releases on our website. This means that you do not need to rely on the versions of these reported by the media but can instead read the full text on your computer.

Despite the pathetic technical skills of your Chairman, I'm delighted to report that GEICO, Borsheim's, See's, and The Buffalo News are now doing substantial business via the Internet. We've also recently begun to offer annuity products on our website. This business was developed by Ajit Jain, who over the last decade has personally accounted for a significant portion of Berkshire's operating earnings. While Charlie and I sleep, Ajit keeps thinking of new ways to add value to Berkshire.

Shareholder-Designated Contributions

About 97.5% of all eligible shares participated in Berkshire's 1998 shareholder-designated contributions program, with contributions totaling $16.9 million. A full description of the program appears on pages 54-55.

Cumulatively, over the 18 years of the program, Berkshire has made contributions of $130 million pursuant to the instructions of our shareholders. The rest of Berkshire's giving is done by our subsidiaries, which stick to the philanthropic patterns that prevailed before they were acquired (except that their former owners themselves take on the responsibility for their personal charities). In aggregate, our subsidiaries made contributions of $12.5 million in 1998, including in-kind donations of $2.0 million.

To participate in future programs, you must own Class A shares that are registered in the name of the actual owner, not the nominee name of a broker, bank or depository. Shares not so registered on August 31, 1999, will be ineligible for the 1999 program. When you get the contributions form from us, return it promptly so that it does not get put aside or forgotten. Designations received after the due date will not be honored.

The Annual Meeting

This year's Woodstock for Capitalists will be held May 1-3, and we may face a problem. Last year more than 10,000 people attended our annual meeting, and our shareholders list has since doubled. So we don't quite know what attendance to expect this year. To be safe, we have booked both Aksarben Coliseum, which holds about 14,000 and the Holiday Convention Centre, which can seat an additional 5,000. Because we know that our Omaha shareholders will want to be good hosts to the out-of-towners (many of them come from outside the U.S), we plan to give those visitors first crack at the Aksarben tickets and to subsequently allocate these to greater Omaha residents on a first-come, first-served basis. If we exhaust the Aksarben tickets, we will begin distributing Holiday tickets to Omaha shareholders.

If we end up using both locations, Charlie and I will split our pre-meeting time between the two. Additionally, we will have exhibits and also the Berkshire movie, large television screens and microphones at both sites. When we break for lunch, many attendees will leave Aksarben, which means that those at Holiday can, if they wish, make the five-minute trip to Aksarben and finish out the day there. Buses will be available to transport people who don't have cars.

The doors will open at both locations at 7 a.m. on Monday, and at 8:30 we will premier the 1999 Berkshire movie epic, produced by Marc Hamburg, our CFO. The meeting will last from 9:30 until 3:30, interrupted only by the short lunch break.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the badge you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. In our normal fashion, we will run buses from the larger hotels to the meeting. After the meeting, these will make trips back to the hotels and to Nebraska Furniture Mart, Borsheim's and the airport. Even so, you are likely to find a car useful.

The full line of Berkshire products will be available at Aksarben, and the more popular items will also be at Holiday. Last year we set sales records across-the-board, moving 3,700 pounds of See's candy, 1,635 pairs of Dexter shoes, 1,150 sets of Quikut knives and 3,104 Berkshire shirts and hats. Additionally, $26,944 of World Book products were purchased as well as more than 2,000 golf balls with the Berkshire Hathaway logo. Charlie and I are pleased but not satisfied with these numbers and confidently predict new records in all categories this year. Our 1999 apparel line will be unveiled at the meeting, so please defer your designer purchases until you view our collection.

Dairy Queen will also be on hand and will again donate all proceeds to the Children's Miracle Network. Last year we sold about 4,000 Dilly® bars, fudge bars and vanilla/orange bars. Additionally, GEICO will have a booth that will be manned by a number of our top counselors from around the country, all of them ready to supply you with auto insurance quotes. In almost all cases, GEICO will be able to offer you a special shareholder's discount. Check out whether we can save you some money.

The *piece de resistance* of our one-company trade show will be a 79-foot-long, nearly 12-foot-wide, fully-outfitted cabin of a 737 Boeing Business Jet ("BBJ"), which is NetJets' newest product. This plane has a 14-hour range; is designed to carry 19 passengers; and offers a bedroom, an office, and two showers. Deliveries to fractional owners will begin in the first quarter of 2000.

The BBJ will be available for your inspection on May 1-3 near the entrance to the Aksarben hall. You should be able to minimize your wait by making your visit on Saturday or Sunday. Bring along your checkbook in case you decide to make an impulse purchase.

NFM's multi-stored complex, located on a 75-acre site about a mile from Aksarben, is open from 10 a.m. to 9 p.m. on weekdays, and 10 a.m. to 6 p.m. on Saturdays and Sundays. This operation did $300 million in business during 1998 and offers an unrivaled breadth of merchandise — furniture, electronics, appliances, carpets and computers — all at can't-be-beat prices. During the April 30th to May 4th period, shareholders presenting their meeting badge will receive a discount that is customarily given only to its employees.

Borsheim's normally is closed on Sunday but will be open for shareholders from 10 a.m. to 6 p.m. on May 2nd. On annual meeting weekend last year, the store did an incredible amount of business. Sales were double those of the previous year, and the store's volume on Sunday greatly exceeded volume for any day in Borsheim's history. Charlie attributes this record to the fact that he autographed sales tickets that day and, while I have my doubts about this proposition, we are not about to mess with a winning formula. Please give him writer's cramp. On last year's Sunday, Borsheim's wrote 2,501 tickets during the eight hours it was open. For those of you who are mathematically challenged, that is one ticket every 11½ seconds.

Shareholders who wish to avoid Sunday's crowd can visit Borsheim's on Saturday (10 a.m.-5:30 p.m.) or on Monday (10 a.m.-8 p.m.). Be sure to identify yourself as a Berkshire owner so that Susan Jacques, Borsheim's CEO, can quote you a "shareholder-weekend" price. Susan joined us in 1983 as a $4-per-hour salesperson and was made CEO in 1994. This move ranks as one of my best managerial decisions.

Bridge players can look forward to a thrill on Sunday, when Bob Hamman — the best the game has ever seen — will turn up to play with our shareholders in the mall outside of Borsheim's. Bob plays without sorting his cards — hey, maybe that's what's wrong with my game. We will also have a couple of other tables at which another expert or two will be playing.

Gorat's — my favorite steakhouse — will again be open especially for Berkshire shareholders on the Sunday night before the meeting. Though Gorat's served from 4 p.m. until about 1 a.m. last year, its crew was swamped, and some of our shareholders had an uncomfortable wait. This year fewer reservations will be accepted, and we ask that you don't come on Sunday without a reservation. In other years, many of our shareholders have chosen to visit Gorat's on Friday, Saturday or Monday. You can make reservations beginning on April 1 *(but not before)* by calling 402-551-3733. The cognoscenti will continue to order rare T-bones with double orders of hash browns.

The Omaha Golden Spikes (neé the Omaha Royals) will meet the Iowa Cubs on Saturday evening, May 1st, at Rosenblatt Stadium. Your Chairman, whose breaking ball had the crowd buzzing last year, will again take the mound. This year I plan to introduce my "flutterball." It's a real source of irritation to me that many view our annual meeting as a financial event rather than the sports classic I consider it to be. Once the world sees my flutterball, that misperception will be erased.

Our proxy statement includes instructions about obtaining tickets to the game and also a large quantity of other information that should help you to enjoy your visit. I particularly urge the 60,000 shareholders that we gained through the Gen Re merger to join us. Come and meet your fellow capitalists.

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It wouldn't be right to close without a word about the 11.8 people who work with me in Berkshire's corporate office. In addition to handling the myriad of tax, regulatory and administrative matters that come with owning dozens of businesses, this group efficiently and cheerfully manages various special projects, some of which generate hundreds of inquiries. Here's a sample of what went on in 1998:

- 6,106 shareholders designated 3,880 charities to receive contributions.

- Kelly Muchemore processed about 17,500 admission tickets for the annual meeting, along with orders and checks for 3,200 baseball tickets.

- Kelly and Marc Hamburg produced and directed the Aksarben extravaganza, a job that required them to arrange the presentations made by our subsidiaries, prepare our movie, and sometimes lend people a hand with travel and lodging.

- Debbie Bosanek satisfied the varying needs of the 46 media organizations (13 of them non-U.S.) that covered the meeting, and meanwhile, as always, skillfully assisted me in every aspect of my job.

- Debbie and Marc assembled the data for our annual report and oversaw the production and distribution of 165,000 copies. (This year the number will be 325,000.)

- Marc handled 95% of the details — and much of the substance — connected with our completing two major mergers.

- Kelly, Debbie and Deb Ray dealt efficiently with tens of thousands of requests for annual reports and financial information that came through the office.

You and I are paying for only 11.8 people, but we are getting what would at most places be the output of 100. To all of the 11.8, my thanks.

Warren E. Buffett
March 1, 1999 Chairman of the Board

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our gain in net worth during 1999 was $358 million, which increased the per-share book value of both our Class A and Class B stock by 0.5%. Over the last 35 years (that is, since present management took over) per-share book value has grown from $19 to $37,987, a rate of 24.0% compounded annually.*

The numbers on the facing page show just how poor our 1999 record was. We had the worst absolute performance of my tenure and, compared to the S&P, the worst relative performance as well. Relative results are what concern us: Over time, bad relative numbers will produce unsatisfactory absolute results.

Even Inspector Clouseau could find last year's guilty party: your Chairman. My performance reminds me of the quarterback whose report card showed four Fs and a D but who nonetheless had an understanding coach. "Son," he drawled, "I think you're spending too much time on that one subject."

My "one subject" is capital allocation, and my grade for 1999 most assuredly is a D. What most hurt us during the year was the inferior performance of Berkshire's equity portfolio — and responsibility for that portfolio, leaving aside the small piece of it run by Lou Simpson of GEICO, is entirely mine. Several of our largest investees badly lagged the market in 1999 because they've had disappointing operating results. We still like these businesses and are content to have major investments in them. But their stumbles damaged our performance last year, and it's no sure thing that they will quickly regain their stride.

The fallout from our weak results in 1999 was a more-than-commensurate drop in our stock price. In 1998, to go back a bit, the stock outperformed the business. Last year the business did much better than the stock, a divergence that has continued to the date of this letter. Over time, of course, the performance of the stock *must* roughly match the performance of the business.

Despite our poor showing last year, Charlie Munger, Berkshire's Vice Chairman and my partner, and I expect that the gain in Berkshire's intrinsic value over the next decade will modestly exceed the gain from owning the S&P. We can't guarantee that, of course. But we are willing to back our conviction with our own money. To repeat a fact you've heard before, well over 99% of my net worth resides in Berkshire. Neither my wife nor I have ever sold a share of Berkshire and — unless our checks stop clearing — we have no intention of doing so.

Please note that I spoke of hoping to beat the S&P "modestly." For Berkshire, truly large superiorities over that index are a thing of the past. They existed then because we could buy both businesses and stocks at far more attractive prices than we can now, and also because we then had a much smaller capital base, a situation that allowed us to consider a much wider range of investment opportunities than are available to us today.

Our optimism about Berkshire's performance is also tempered by the expectation — indeed, in our minds, the virtual certainty — that the S&P will do far less well in the next decade or two than it has done since 1982. A recent article in Fortune expressed my views as to why this is inevitable, and I'm enclosing a copy with this report.

Our goal is to run our present businesses well — a task made easy because of the outstanding managers we have in place — and to acquire additional businesses having economic characteristics and managers comparable to those we already own. We made important progress in this respect during 1999 by acquiring Jordan's Furniture and contracting to buy a major portion of MidAmerican Energy. We will talk more about these companies later in the report but let me emphasize one point here: We bought both for cash, issuing no Berkshire shares. Deals of that kind aren't always possible, but that is the method of acquisition that Charlie and I vastly prefer.

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*All figures used in this report apply to Berkshire's A shares, the successor to the only stock that the company had outstanding before 1996. The B shares have an economic interest equal to 1/30th that of the A.

Guides to Intrinsic Value

I often talk in these pages about intrinsic value, a key, though far from precise, measurement we utilize in our acquisitions of businesses and common stocks. (For an extensive discussion of this, and other investment and accounting terms and concepts, please refer to our Owner's Manual on pages 55 - 62. Intrinsic value is discussed on page 60.)

In our last four reports, we have furnished you a table that we regard as useful in estimating Berkshire's intrinsic value. In the updated version of that table, which follows, we trace two key components of value. The first column lists our per-share ownership of investments (including cash and equivalents but excluding assets held in our financial products operation) and the second column shows our per-share earnings from Berkshire's operating businesses before taxes and purchase-accounting adjustments (discussed on page 61), but after all interest and corporate expenses. The second column excludes *all* dividends, interest and capital gains that we realized from the investments presented in the first column. In effect, the columns show how Berkshire would look if it were split into two parts, with one entity holding our investments and the other operating all of our businesses and bearing all corporate costs.

Year	Investments Per Share	Pre-tax Earnings (Loss) Per Share With All Income from Investments Excluded
1969	$ 45	$ 4.39
1979	577	13.07
1989	7,200	108.86
1999	47,339	(458.55)

Here are the growth rates of the two segments by decade:

Decade Ending	Investments Per Share	Pre-tax Earnings Per Share With All Income from Investments Excluded
1979	29.0%	11.5%
1989	28.7%	23.6%
1999	20.7%	N.A.
Annual Growth Rate, 1969-1999	25.4%	N.A.

In 1999, our per-share investments changed very little, but our operating earnings, affected by negatives that overwhelmed some strong positives, fell apart. Most of our operating managers deserve a grade of A for delivering fine results and for having widened the difference between the intrinsic value of their businesses and the value at which these are carried on our balance sheet. But, offsetting this, we had a huge — and, I believe, aberrational — underwriting loss at General Re. Additionally, GEICO's underwriting profit fell, as we had predicted it would. GEICO's overall performance, though, was terrific, outstripping my ambitious goals.

We do not expect our underwriting earnings to improve in any dramatic way this year. Though GEICO's intrinsic value should grow by a highly satisfying amount, its underwriting performance is almost certain to weaken. That's because auto insurers, as a group, will do worse in 2000, and because we will materially increase our marketing expenditures. At General Re, we are raising rates and, if there is no mega-catastrophe in 2000, the company's underwriting loss should fall considerably. It takes some time, however, for the full effect of rate increases to kick in, and General Re is therefore likely to have another unsatisfactory underwriting year.

You should be aware that one item regularly working to widen the amount by which intrinsic value exceeds book value is the annual charge against income we take for amortization of goodwill — an amount now running about $500 million. This charge reduces the amount of goodwill we show as an asset and likewise the amount that is included in our book value. This is an accounting matter having nothing to do with true economic goodwill, which increases in most years. But even if economic goodwill were to remain constant, the annual amortization charge would persistently widen the gap between intrinsic value and book value.

Though we can't give you a precise figure for Berkshire's intrinsic value, or even an approximation, Charlie and I can assure you that it far exceeds our $57.8 billion book value. Businesses such as See's and Buffalo News are now worth fifteen to twenty times the value at which they are carried on our books. Our goal is to continually widen this spread at all subsidiaries.

A Managerial Story You Will Never Read Elsewhere

Berkshire's collection of managers is unusual in several important ways. As one example, a very high percentage of these men and women are independently wealthy, having made fortunes in the businesses that they run. They work neither because they need the money nor because they are contractually obligated to — we have no contracts at Berkshire. Rather, they work long and hard because they love their businesses. And I use the word "their" advisedly, since these managers are truly in charge — there are no show-and-tell presentations in Omaha, no budgets to be approved by headquarters, no dictums issued about capital expenditures. We simply ask our managers to run their companies as if these are the sole asset of their families and will remain so for the next century.

Charlie and I try to behave with our managers just as we attempt to behave with Berkshire's shareholders, treating both groups as we would wish to be treated if our positions were reversed. Though "working" means nothing to me financially, I love doing it at Berkshire for some simple reasons: It gives me a sense of achievement, a freedom to act as I see fit and an opportunity to interact daily with people I like and trust. Why should our managers — accomplished artists at what they do — see things differently?

In their relations with Berkshire, our managers often appear to be hewing to President Kennedy's charge, "Ask not what your country can do for you; ask what you can do for your country." Here's a remarkable story from last year: It's about R. C. Willey, Utah's dominant home furnishing business, which Berkshire purchased from Bill Child and his family in 1995. Bill and most of his managers are Mormons, and for this reason R. C. Willey's stores have never operated on Sunday. This is a difficult way to do business: Sunday is the favorite shopping day for many customers. Bill, nonetheless, stuck to his principles -- and while doing so built his business from $250,000 of annual sales in 1954, when he took over, to $342 million in 1999.

Bill felt that R. C. Willey could operate successfully in markets outside of Utah and in 1997 suggested that we open a store in Boise. I was highly skeptical about taking a no-Sunday policy into a new territory where we would be up against entrenched rivals open seven days a week. Nevertheless, this was Bill's business to run. So, despite my reservations, I told him to follow both his business judgment and his religious convictions.

Bill then insisted on a truly extraordinary proposition: He would personally buy the land and build the store — for about $9 million as it turned out — and would sell it to us at his cost if it proved to be successful. On the other hand, if sales fell short of his expectations, we could exit the business without paying Bill a cent. This outcome, of course, would leave him with a huge investment in an empty building. I told him that I appreciated his offer but felt that if Berkshire was going to get the upside it should also take the downside. Bill said nothing doing: If there was to be failure because of his religious beliefs, he wanted to take the blow personally.

The store opened last August and immediately became a huge success. Bill thereupon turned the property over to us — including some extra land that had appreciated significantly — and we wrote him a check for his cost. And get this: *Bill refused to take a dime of interest on the capital he had tied up over the two years*.

If a manager has behaved similarly at some other public corporation, I haven't heard about it. You can understand why the opportunity to partner with people like Bill Child causes me to tap dance to work every morning.

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A footnote: After our "soft" opening in August, we had a grand opening of the Boise store about a month later. Naturally, I went there to cut the ribbon (your Chairman, I wish to emphasize, is good for *something*). In my talk I told the crowd how sales had far exceeded expectations, making us, by a considerable margin, the largest home furnishings store in Idaho. Then, as the speech progressed, my memory miraculously began to improve. By the end of my talk, it all had come back to me: Opening a store in Boise had been *my* idea.

The Economics of Property/Casualty Insurance

Our main business — though we have others of great importance — is insurance. To understand Berkshire, therefore, it is necessary that you understand how to evaluate an insurance company. The key determinants are: (1) the amount of float that the business generates; (2) its cost; and (3) most critical of all, the long-term outlook for both of these factors.

To begin with, float is money we hold but don't own. In an insurance operation, float arises because premiums are received before losses are paid, an interval that sometimes extends over many years. During that time, the insurer invests the money. This pleasant activity typically carries with it a downside: The premiums that an insurer takes in usually do not cover the losses and expenses it eventually must pay. That leaves it running an "underwriting loss," which is the cost of float. An insurance business has value if its cost of float over time is less than the cost the company would otherwise incur to obtain funds. But the business is a lemon if its cost of float is higher than market rates for money.

A caution is appropriate here: Because loss costs must be estimated, insurers have enormous latitude in figuring their underwriting results, and that makes it very difficult for investors to calculate a company's true cost of float. Errors of estimation, usually innocent but sometimes not, can be huge. The consequences of these miscalculations flow directly into earnings. An experienced observer can usually detect large-scale errors in reserving, but the general public can typically do no more than accept what's presented, and at times I have been amazed by the numbers that big-name auditors have implicitly blessed. In 1999 a number of insurers announced reserve adjustments that made a mockery of the "earnings" that investors had relied on earlier when making their buy and sell decisions. At Berkshire, we strive to be conservative and consistent in our reserving. Even so, we warn you that an unpleasant surprise is always possible.

The table that follows shows (at intervals) the float generated by the various segments of Berkshire's insurance operations since we entered the business 33 years ago upon acquiring National Indemnity Company (whose traditional lines are included in the segment "Other Primary"). For the table we have calculated our float — which we generate in large amounts relative to our premium volume — by adding net loss reserves, loss adjustment reserves, funds held under reinsurance assumed and unearned premium reserves, and then subtracting agents balances, prepaid acquisition costs, prepaid taxes and deferred charges applicable to assumed reinsurance. (Got that?)

Yearend Float (in $ millions)

Year	GEICO	General Re	Other Reinsurance	Other Primary	Total
1967				20	20
1977			40	131	171
1987			701	807	1,508
1997	2,917		4,014	455	7,386
1998	3,125	14,909	4,305	415	22,754
1999	3,444	15,166	6,285	403	25,298

Growth of float is important — but its cost is what's vital. Over the years we have usually recorded only a small underwriting loss — which means our cost of float was correspondingly low — or actually had an underwriting profit,

which means we were being *paid* for holding other people's money. Indeed, our cumulative result through 1998 was an underwriting profit. In 1999, however, we incurred a $1.4 billion underwriting loss that left us with float cost of 5.8%. One mildly mitigating factor: We enthusiastically welcomed $400 million of the loss because it stems from business that will deliver us exceptional float over the next decade. The balance of the loss, however, was decidedly unwelcome, and our overall result must be judged extremely poor. Absent a mega-catastrophe, we expect float cost to fall in 2000, but any decline will be tempered by our aggressive plans for GEICO, which we will discuss later.

There are a number of people who deserve credit for manufacturing so much "no-cost" float over the years. Foremost is Ajit Jain. It's simply impossible to overstate Ajit's value to Berkshire: He has from scratch built an outstanding reinsurance business, which during his tenure has earned an underwriting profit and now holds $6.3 billion of float.

In Ajit, we have an underwriter equipped with the intelligence to properly rate most risks; the realism to forget about those he can't evaluate; the courage to write huge policies when the premium is appropriate; and the discipline to reject even the smallest risk when the premium is inadequate. It is rare to find a person possessing any one of these talents. For one person to have them all is remarkable.

Since Ajit specializes in super-cat reinsurance, a line in which losses are infrequent but extremely large when they occur, his business is sure to be far more volatile than most insurance operations. To date, we have benefitted from good luck on this volatile book. Even so, Ajit's achievements are truly extraordinary.

In a smaller but nevertheless important way, our "other primary" insurance operation has also added to Berkshire's intrinsic value. This collection of insurers has delivered a $192 million underwriting profit over the past five years while supplying us with the float shown in the table. In the insurance world, results like this are uncommon, and for their feat we thank Rod Eldred, Brad Kinstler, John Kizer, Don Towle and Don Wurster.

As I mentioned earlier, the General Re operation had an exceptionally poor underwriting year in 1999 (though investment income left the company well in the black). Our business was extremely underpriced, both domestically and internationally, a condition that is improving but not yet corrected. Over time, however, the company should develop a growing amount of low-cost float. At both General Re and its Cologne subsidiary, incentive compensation plans are now directly tied to the variables of float growth and cost of float, the same variables that determine value for owners.

Even though a reinsurer may have a tightly focused and rational compensation system, it cannot count on every year coming up roses. Reinsurance is a highly volatile business, and neither General Re nor Ajit's operation is immune to bad pricing behavior in the industry. But General Re has the distribution , the underwriting skills, the culture, and — with Berkshire's backing — the financial clout to become the world's most profitable reinsurance company. Getting there will take time, energy and discipline, but we have no doubt that Ron Ferguson and his crew can make it happen.

GEICO (1-800-847-7536 or GEICO.com)

GEICO made exceptional progress in 1999. The reasons are simple: We have a terrific business idea being implemented by an extraordinary manager, Tony Nicely. When Berkshire purchased GEICO at the beginning of 1996, we handed the keys to Tony and asked him to run the operation exactly as if he owned 100% of it. He has done the rest. Take a look at his scorecard:

Years	New Auto Policies[1][2]	Auto Policies In-Force[1]
1993	346,882	2,011,055
1994	384,217	2,147,549
1995	443,539	2,310,037
1996	592,300	2,543,699
1997	868,430	2,949,439
1998	1,249,875	3,562,644
1999	1,648,095	4,328,900

[1] "Voluntary" only; excludes assigned risks and the like.

[2] Revised to exclude policies moved from one GEICO company to another.

In 1995, GEICO spent $33 million on marketing and had 652 telephone counselors. Last year the company spent $242 million, and the counselor count grew to 2,631. And we are just starting: The pace will step up materially in 2000. Indeed, we would happily commit $1 billion annually to marketing if we knew we could handle the business smoothly and if we expected the last dollar spent to produce new business at an attractive cost.

Currently two trends are affecting acquisition costs. The bad news is that it has become more expensive to develop inquiries. Media rates have risen, and we are also seeing diminishing returns — that is, as both we and our competitors step up advertising, inquiries per ad fall for all of us. These negatives are partly offset, however, by the fact that our closure ratio — the percentage of inquiries converted to sales — has steadily improved. Overall, we believe that our cost of new business, though definitely rising, is well below that of the industry. Of even greater importance, our operating costs for renewal business are the lowest among broad-based national auto insurers. Both of these major competitive advantages are sustainable. Others may copy our model, but they will be unable to replicate our economics.

The table above makes it appear that GEICO's retention of policyholders is falling, but for two reasons appearances are in this case deceiving. First, in the last few years our business mix has moved away from "preferred" policyholders, for whom industrywide retention rates are high, toward "standard" and "non-standard" policyholders for whom retention rates are much lower. (Despite the nomenclature, the three classes have similar profit prospects.) Second, retention rates for relatively new policyholders are always lower than those for long-time customers — and because of our accelerated growth, our policyholder ranks now include an increased proportion of new customers. Adjusted for these two factors, our retention rate has changed hardly at all.

We told you last year that underwriting margins for both GEICO and the industry would fall in 1999, and they did. We make a similar prediction for 2000. A few years ago margins got too wide, having enjoyed the effects of an unusual and unexpected decrease in the frequency and severity of accidents. The industry responded by reducing rates — but now is having to contend with an increase in loss costs. We would not be surprised to see the margins of auto insurers deteriorate by around three percentage points in 2000.

Two negatives besides worsening frequency and severity will hurt the industry this year. First, rate increases go into effect only slowly, both because of regulatory delay and because insurance contracts must run their course before new rates can be put in. Second, reported earnings of many auto insurers have benefitted in the last few years from reserve releases, made possible because the companies overestimated their loss costs in still-earlier years. This reservoir of redundant reserves has now largely dried up, and future boosts to earnings from this source will be minor at best.

In compensating its associates — from Tony on down — GEICO continues to use two variables, and only two, in determining what bonuses and profit-sharing contributions will be: 1) its percentage growth in policyholders and 2) the earnings of its "seasoned" business, meaning policies that have been with us for more than a year. We did outstandingly well on both fronts during 1999 and therefore made a profit-sharing payment of 28.4% of salary (in total, $113.3 million) to the great majority of our associates. Tony and I love writing those checks.

At Berkshire, we want to have compensation policies that are both easy to understand and in sync with what we wish our associates to accomplish. Writing new business is expensive (and, as mentioned, getting more expensive). If we were to include those costs in our calculation of bonuses — as managements did before our arrival at GEICO — we would be penalizing our associates for garnering new policies, even though these are very much in Berkshire's interest. So, in effect, we say to our associates that we will foot the bill for new business. Indeed, because percentage growth in policyholders is part of our compensation scheme, we *reward* our associates for producing this initially-unprofitable business. And then we reward them additionally for holding down costs on our seasoned business.

Despite the extensive advertising we do, our best source of new business is word-of-mouth recommendations from existing policyholders, who on the whole are pleased with our prices and service. An article published last year by *Kiplinger's Personal Finance Magazine* gives a good picture of where we stand in customer satisfaction: The magazine's survey of 20 state insurance departments showed that GEICO's complaint ratio was well below the ratio for most of its major competitors.

Our strong referral business means that we probably could maintain our policy count by spending as little as $50 million annually on advertising. That's a guess, of course, and we will never know whether it is accurate because Tony's foot is going to stay on the advertising pedal (and my foot will be on his). Nevertheless, I want to emphasize that a major percentage of the $300-$350 million we will spend in 2000 on advertising, as well as large additional costs

we will incur for sales counselors, communications and facilities, are optional outlays we choose to make so that we can both achieve significant growth and extend and solidify the promise of the GEICO brand in the minds of Americans.

Personally, I think these expenditures are the best investment Berkshire can make. Through its advertising, GEICO is acquiring a direct relationship with a huge number of households that, on average, will send us $1,100 year after year. That makes us — among all companies, selling whatever kind of product — one of the country's leading direct merchandisers. Also, as we build our long-term relationships with more and more families, cash is pouring in rather than going out (no Internet economics here). Last year, as GEICO increased its customer base by 766,256, it gained $590 million of cash from operating earnings and the increase in float.

In the past three years, we have increased our market share in personal auto insurance from 2.7% to 4.1%. But we rightfully belong in many more households — maybe even yours. Give us a call and find out. About 40% of those people checking our rates find that they can save money by doing business with us. The proportion is not 100% because insurers differ in their underwriting judgments, with some giving more credit than we do to drivers who live in certain geographic areas or work at certain occupations. Our closure rate indicates, however, that we more frequently offer the low price than does any other national carrier selling insurance to all comers. Furthermore, in 40 states we can offer a special discount — usually 8% — to our shareholders. Just be sure to identify yourself as a Berkshire owner so that our sales counselor can make the appropriate adjustment.

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It's with sadness that I report to you that Lorimer Davidson, GEICO's former Chairman, died last November, a few days after his 97th birthday. For GEICO, Davy was a business giant who moved the company up to the big leagues. For me, he was a friend, teacher and hero. I have told you of his lifelong kindnesses to me in past reports. Clearly, my life would have developed far differently had he not been a part of it. Tony, Lou Simpson and I visited Davy in August and marveled at his mental alertness — particularly in all matters regarding GEICO. He was the company's number one supporter right up to the end, and we will forever miss him.

Aviation Services

Our two aviation services companies — FlightSafety International ("FSI") and Executive Jet Aviation ("EJA") — are both runaway leaders in their field. EJA, which sells and manages the fractional ownership of jet aircraft, through its NetJets® program, is larger than its next two competitors combined. FSI trains pilots (as well as other transportation professionals) and is five times or so the size of its nearest competitor.

Another common characteristic of the companies is that they are still managed by their founding entrepreneurs. Al Ueltschi started FSI in 1951 with $10,000, and Rich Santulli invented the fractional-ownership industry in 1986. These men are both remarkable managers who have no financial need to work but thrive on helping their companies grow and excel.

Though these two businesses have leadership positions that are similar, they differ in their economic characteristics. FSI must lay out huge amounts of capital. A single flight simulator can cost as much as $15 million — and we have 222. Only one person at a time, furthermore, can be trained in a simulator, which means that the capital investment per dollar of revenue at FSI is exceptionally high. Operating margins must therefore also be high, if we are to earn a reasonable return on capital. Last year we made capital expenditures of $215 million at FSI and FlightSafety Boeing, its 50%-owned affiliate.

At EJA, in contrast, the customer owns the equipment, though we, of course, must invest in a core fleet of our own planes to ensure outstanding service. For example, the Sunday after Thanksgiving, EJA's busiest day of the year, strains our resources since fractions of 169 planes are owned by 1,412 customers, many of whom are bent on flying home between 3 and 6 p.m. On that day, and certain others, we need a supply of company-owned aircraft to make sure all parties get where they want, when they want.

Still, most of the planes we fly are owned by customers, which means that modest pre-tax margins in this business can produce good returns on equity. Currently, our customers own planes worth over $2 billion, and in addition we have $4.2 billion of planes on order. Indeed, the limiting factor in our business right now is the availability of planes. We

now are taking delivery of about 8% of all business jets manufactured in the world, and we wish we could get a bigger share than that. Though EJA was supply-constrained in 1999, its recurring revenues — monthly management fees plus hourly flight fees — increased 46%.

The fractional-ownership industry is still in its infancy. EJA is now building critical mass in Europe, and over time we will expand around the world. Doing that will be expensive — very expensive — but we will spend what it takes. Scale is vital to both us and our customers: The company with the most planes in the air worldwide will be able to offer its customers the best service. "Buy a fraction, get a fleet" has real meaning at EJA.

EJA enjoys another important advantage in that its two largest competitors are both subsidiaries of aircraft manufacturers and sell only the aircraft their parents make. Though these are fine planes, these competitors are severely limited in the cabin styles and mission capabilities they can offer. EJA, in contrast, offers a wide array of planes from five suppliers. Consequently, we can give the customer whatever *he* needs to buy — rather than his getting what the competitor's parent needs to sell.

Last year in this report, I described my family's delight with the one-quarter (200 flight hours annually) of a Hawker 1000 that we had owned since 1995. I got so pumped up by my own prose that shortly thereafter I signed up for one-sixteenth of a Cessna V Ultra as well. Now my annual outlays at EJA and Borsheim's, combined, total ten times my salary. Think of this as a rough guideline for your own expenditures with us.

During the past year, two of Berkshire's outside directors have also signed on with EJA. (Maybe we're paying them too much.) You should be aware that they and I are charged exactly the same price for planes and service as is any other customer: EJA follows a "most favored nations" policy, with no one getting a special deal.

And now, brace yourself. Last year, EJA passed the ultimate test: *Charlie signed up*. No other endorsement could speak more eloquently to the value of the EJA service. Give us a call at 1-800-848-6436 and ask for our "white paper" on fractional ownership.

Acquisitions of 1999

At both GEICO and Executive Jet, our best source of new customers is the happy ones we already have. Indeed, about 65% of our new owners of aircraft come as referrals from current owners who have fallen in love with the service.

Our acquisitions usually develop in the same way. At other companies, executives may devote themselves to pursuing acquisition possibilities with investment bankers, utilizing an auction process that has become standardized. In this exercise the bankers prepare a "book" that makes me think of the Superman comics of my youth. In the Wall Street version, a formerly mild-mannered company emerges from the investment banker's phone booth able to leap over competitors in a single bound and with earnings moving faster than a speeding bullet. Titillated by the book's description of the acquiree's powers, acquisition-hungry CEOs — Lois Lanes all, beneath their cool exteriors — promptly swoon.

What's particularly entertaining in these books is the precision with which earnings are projected for many years ahead. If you ask the author-banker, however, what his own firm will earn *next month*, he will go into a protective crouch and tell you that business and markets are far too uncertain for him to venture a forecast.

Here's one story I can't resist relating: In 1985, a major investment banking house undertook to sell Scott Fetzer, offering it widely — but with no success. Upon reading of this strikeout, I wrote Ralph Schey, then and now Scott Fetzer's CEO, expressing an interest in buying the business. I had never met Ralph, but within a week we had a deal. Unfortunately, Scott Fetzer's letter of engagement with the banking firm provided it a $2.5 million fee upon sale, even if it had nothing to do with finding the buyer. I guess the lead banker felt he should do something for his payment, so he graciously offered us a copy of the book on Scott Fetzer that his firm had prepared. With his customary tact, Charlie responded: "I'll pay $2.5 million *not* to read it."

At Berkshire, our carefully-crafted acquisition strategy is simply to wait for the phone to ring. Happily, it sometimes does so, usually because a manager who sold to us earlier has recommended to a friend that he think about following suit.

Which brings us to the furniture business. Two years ago I recounted how the acquisition of Nebraska Furniture Mart in 1983 and my subsequent association with the Blumkin family led to follow-on transactions with R. C. Willey (1995) and Star Furniture (1997). For me, these relationships have all been terrific. Not only did Berkshire acquire three outstanding retailers; these deals also allowed me to become friends with some of the finest people you will ever meet.

Naturally, I have persistently asked the Blumkins, Bill Child and Melvyn Wolff whether there are any more out there like you. Their invariable answer was the Tatelman brothers of New England and their remarkable furniture business, Jordan's.

I met Barry and Eliot Tatelman last year and we soon signed an agreement for Berkshire to acquire the company. Like our three previous furniture acquisitions, this business had long been in the family — in this case since 1927, when Barry and Eliot's grandfather began operations in a Boston suburb. Under the brothers' management, Jordan's has grown ever more dominant in its region, becoming the largest furniture retailer in New Hampshire as well as Massachusetts.

The Tatelmans don't just sell furniture or manage stores. They also present customers with a dazzling entertainment experience called "shoppertainment." A family visiting a store can have a terrific time, while concurrently viewing an extraordinary selection of merchandise. The business results are also extraordinary: Jordan's has the highest sales per square foot of any major furniture operation in the country. I urge you to visit one of their stores if you are in the Boston area — particularly the one at Natick, which is Jordan's newest. Bring money.

Barry and Eliot are classy people — just like their counterparts at Berkshire's three other furniture operations. When they sold to us, they elected to give each of their employees at least 50¢ for every hour that he or she had worked for Jordan's. This payment added up to $9 million, which came from the Tatelmans' own pockets, not from Berkshire's. And Barry and Eliot were thrilled to write the checks.

Each of our furniture operations is number one in its territory. We now sell more furniture than anyone else in Massachusetts, New Hampshire, Texas, Nebraska, Utah and Idaho. Last year Star's Melvyn Wolff and his sister, Shirley Toomim, scored two major successes: a move into San Antonio and a significant enlargement of Star's store in Austin.

There's no operation in the furniture retailing business remotely like the one assembled by Berkshire. It's fun for me and profitable for you. W. C. Fields once said, "It was a woman who drove me to drink, but unfortunately I never had the chance to thank her." I don't want to make that mistake. My thanks go to Louie, Ron and Irv Blumkin for getting me started in the furniture business and for unerringly guiding me as we have assembled the group we now have.

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Now, for our second acquisition deal: It came to us through my good friend, Walter Scott, Jr., chairman of Level 3 Communications and a director of Berkshire. Walter has many other business connections as well, and one of them is with MidAmerican Energy, a utility company in which he has substantial holdings and on whose board he sits. At a conference in California that we both attended last September, Walter casually asked me whether Berkshire might be interested in making a large investment in MidAmerican, and from the start the idea of being in partnership with Walter struck me as a good one. Upon returning to Omaha, I read some of MidAmerican's public reports and had two short meetings with Walter and David Sokol, MidAmerican's talented and entrepreneurial CEO. I then said that, at an appropriate price, we would indeed like to make a deal.

Acquisitions in the electric utility industry are complicated by a variety of regulations including the Public Utility Holding Company Act of 1935. Therefore, we had to structure a transaction that would avoid Berkshire gaining voting control. Instead we are purchasing an 11% fixed-income security, along with a combination of common stock and exchangeable preferred that will give Berkshire just under 10% of the voting power of MidAmerican but about 76% of the equity interest. All told, our investment will be about $2 billion.

Walter characteristically backed up his convictions with real money: He and his family will buy more MidAmerican stock for cash when the transaction closes, bringing their total investment to about $280 million. Walter will also be the controlling shareholder of the company, and I can't think of a better person to hold that post.

Though there are many regulatory constraints in the utility industry, it's possible that we will make additional commitments in the field. If we do, the amounts involved could be large.

Acquisition Accounting

Once again, I would like to make some comments about accounting, in this case about its application to acquisitions. This is currently a very contentious topic and, before the dust settles, Congress may even intervene (a truly terrible idea).

When a company is acquired, generally accepted accounting principles ("GAAP") currently condone two very different ways of recording the transaction: "purchase" and "pooling." In a pooling, stock must be the currency; in a purchase, payment can be made in either cash or stock. Whatever the currency, managements usually detest purchase accounting because it almost always requires that a "goodwill" account be established and subsequently written off — a process that saddles earnings with a large annual charge that normally persists for decades. In contrast, pooling avoids a goodwill account, which is why managements love it.

Now, the Financial Accounting Standards Board ("FASB") has proposed an end to pooling, and many CEOs are girding for battle. It will be an important fight, so we'll venture some opinions. To begin with, we agree with the many managers who argue that goodwill amortization charges are usually spurious. You'll find my thinking about this in the appendix to our 1983 annual report, which is available on our website, and in the Owner's Manual on pages 55 - 62.

For accounting rules to mandate amortization that will, in the usual case, conflict with reality is deeply troublesome: Most accounting charges *relate* to what's going on, even if they don't precisely measure it. As an example, depreciation charges can't with precision calibrate the decline in value that physical assets suffer, but these charges do at least describe something that is truly occurring: Physical assets invariably deteriorate. Correspondingly, obsolescence charges for inventories, bad debt charges for receivables and accruals for warranties are among the charges that reflect true costs. The annual charges for these expenses can't be exactly measured, but the necessity for estimating them is obvious.

In contrast, economic goodwill does not, in many cases, diminish. Indeed, in a great many instances — perhaps most — it actually grows in value over time. In character, economic goodwill is much like land: The value of both assets is sure to fluctuate, but the direction in which value is going to go is in no way ordained. At See's, for example, economic goodwill has grown, in an irregular but very substantial manner, for 78 years. And, if we run the business right, growth of that kind will probably continue for at least another 78 years.

To escape from the fiction of goodwill charges, managers embrace the fiction of pooling. This accounting convention is grounded in the poetic notion that when two rivers merge their streams become indistinguishable. Under this concept, a company that has been merged into a larger enterprise has not been "purchased" (even though it will often have received a large "sell-out" premium). Consequently, no goodwill is created, and those pesky subsequent charges to earnings are eliminated. Instead, the accounting for the ongoing entity is handled as if the businesses had forever been one unit.

So much for poetry. The reality of merging is usually far different: There is indisputably an acquirer and an acquiree, and the latter has been "purchased," no matter how the deal has been structured. If you think otherwise, just ask employees severed from their jobs which company was the conqueror and which was the conquered. You will find no confusion. So on this point the FASB is correct: In most mergers, a purchase has been made. Yes, there are some true "mergers of equals," but they are few and far between.

Charlie and I believe there's a reality-based approach that should both satisfy the FASB, which correctly wishes to record a purchase, and meet the objections of managements to nonsensical charges for diminution of goodwill. We would first have the acquiring company record its purchase price — whether paid in stock or cash — at fair value. In most cases, this procedure would create a large asset representing economic goodwill. We would then leave this asset on the books, not requiring its amortization. Later, if the economic goodwill became impaired, as it sometimes would, it would be written down just as would any other asset judged to be impaired.

If our proposed rule were to be adopted, it should be applied retroactively so that acquisition accounting would be consistent throughout America — a far cry from what exists today. One prediction: If this plan were to take effect, managements would structure acquisitions more sensibly, deciding whether to use cash or stock based on the real consequences for their shareholders rather than on the unreal consequences for their reported earnings.

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In our purchase of Jordan's, we followed a procedure that will maximize the cash produced for our shareholders but minimize the earnings we report to you. Berkshire purchased assets for cash, an approach that on our tax returns permits us to amortize the resulting goodwill over a 15-year period. Obviously, this tax deduction materially increases the amount of cash delivered by the business. In contrast, when stock, rather than assets, is purchased for cash, the resulting writeoffs of goodwill are not tax-deductible. The economic difference between these two approaches is substantial.

From the economic standpoint of the acquiring company, the worst deal of all is a stock-for-stock acquisition. Here, a huge price is often paid without there being any step-up in the tax basis of either the stock of the acquiree or its assets. If the acquired entity is subsequently sold, its owner may owe a large capital gains tax (at a 35% or greater rate), even though the sale may truly be producing a major economic loss.

We have made some deals at Berkshire that used far-from-optimal tax structures. These deals occurred because the sellers insisted on a given structure and because, overall, we still felt the acquisition made sense. We have never done an inefficiently-structured deal, however, in order to make our figures look better.

Sources of Reported Earnings

The table that follows shows the main sources of Berkshire's reported earnings. In this presentation, purchase-accounting adjustments are not assigned to the specific businesses to which they apply, but are instead aggregated and shown separately. This procedure lets you view the earnings of our businesses as they would have been reported had we not purchased them. For the reasons discussed on page 61, this form of presentation seems to us to be more useful to investors and managers than one utilizing generally accepted accounting principles (GAAP), which require purchase-premiums to be charged off business-by-business. The total earnings we show in the table are, of course, identical to the GAAP total in our audited financial statements.

(in millions)

	Pre-Tax Earnings		*Berkshire's Share of Net Earnings (after taxes and minority interests)*	
	1999	*1998*	*1999*	*1998*
Operating Earnings:				
Insurance Group:				
Underwriting — Reinsurance	$(1,440)	$(21)	$(927)	$(14)
Underwriting — GEICO	24	269	16	175
Underwriting — Other Primary	22	17	14	10
Net Investment Income	2,482	974	1,764	731
Buffalo News	55	53	34	32
Finance and Financial Products Businesses	125	205 [1]	86	133 [1]
Flight Services	225 [2]	181	132 [2]	110
Home Furnishings	79	72	46	41
International Dairy Queen	56	58	35	35
Jewelry	51	39	31	23
Scott Fetzer (excluding finance operation)	147	137	92	85
See's Candies	74	62	46	40
Shoe Group	17	33	11	23
Purchase-Accounting Adjustments	(739)	(123)	(648)	(118)
Interest Expense [3]	(109)	(100)	(70)	(63)
Shareholder-Designated Contributions	(17)	(17) [4]	(11)	(11) [4]
Other	33	60	20	45
Operating Earnings	1,085	1,899	671	1,277
Capital Gains from Investments	1,365	2,415	886	1,553
Total Earnings - All Entities	$2,450	$4,314	$1,557	$ 2,830

[1] Includes Executive Jet from August 7, 1998 .
[2] Includes Jordan's Furniture from November 13, 1999.
[3] Excludes interest expense of Finance Businesses.
[4] Includes General Re operations for ten days in 1998.

Almost all of our manufacturing, retailing and service businesses had excellent results in 1999. The exception was Dexter Shoe, and there the shortfall did not occur because of managerial problems: In skills, energy and devotion to their work, the Dexter executives are every bit the equal of our other managers. But we manufacture shoes primarily in the U.S., and it has become extremely difficult for domestic producers to compete effectively. In 1999, approximately 93% of the 1.3 billion pairs of shoes purchased in this country came from abroad, where extremely low-cost labor is the rule.

Counting both Dexter and H. H. Brown, we are currently the leading domestic manufacturer of shoes, and we are likely to continue to be. We have loyal, highly-skilled workers in our U.S. plants, and we want to retain every job here that we can. Nevertheless, in order to remain viable, we are sourcing more of our output internationally. In doing that, we have incurred significant severance and relocation costs that are included in the earnings we show in the table.

A few years back, Helzberg's, our 200-store jewelry operation, needed to make operating adjustments to restore margins to appropriate levels. Under Jeff Comment's leadership, the job was done and profits have dramatically rebounded. In the shoe business, where we have Harold Alfond, Peter Lunder, Frank Rooney and Jim Issler in charge, I believe we will see a similar improvement over the next few years.

See's Candies deserves a special comment, given that it achieved a record operating margin of 24% last year. Since we bought See's for $25 million in 1972, it has earned $857 million pre-tax. And, despite its growth, the business has required very little additional capital. Give the credit for this performance to Chuck Huggins. Charlie and I put him in charge the day of our purchase, and his fanatical insistence on both product quality and friendly service has rewarded customers, employees and owners.

Chuck gets better every year. When he took charge of See's at age 46, the company's pre-tax profit, expressed in millions, was about 10% of his age. Today he's 74, and the ratio has increased to 100%. Having discovered this mathematical relationship — let's call it Huggins' Law — Charlie and I now become giddy at the mere thought of Chuck's birthday.

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Additional information about our various businesses is given on pages 39 - 54, where you will also find our segment earnings reported on a GAAP basis. In addition, on pages 63 - 69, we have rearranged Berkshire's financial data into four segments on a non-GAAP basis, a presentation that corresponds to the way Charlie and I think about the company.

Look-Through Earnings

Reported earnings are an inadequate measure of economic progress at Berkshire, in part because the numbers shown in the table presented earlier include only the dividends we receive from investees — though these dividends typically represent only a small fraction of the earnings attributable to our ownership. Not that we mind this division of money, since on balance we regard the undistributed earnings of investees as more valuable to us than the portion paid out. The reason for our thinking is simple: Our investees often have the opportunity to reinvest earnings at high rates of return. So why should we want them paid out?

To depict something closer to economic reality at Berkshire than reported earnings, though, we employ the concept of "look-through" earnings. As we calculate these, they consist of: (1) the operating earnings reported in the previous section, plus; (2) our share of the retained operating earnings of major investees that, under GAAP accounting, are not reflected in our profits, less; (3) an allowance for the tax that would be paid by Berkshire if these retained earnings of investees had instead been distributed to us. When tabulating "operating earnings" here, we exclude purchase-accounting adjustments as well as capital gains and other major non-recurring items.

The following table sets forth our 1999 look-through earnings, though I warn you that the figures can be no more than approximate, since they are based on a number of judgment calls. (The dividends paid to us by these investees have been included in the operating earnings itemized on page 13, mostly under "Insurance Group: Net Investment Income.")

Berkshire's Major Investees	Berkshire's Approximate Ownership at Yearend[1]	Berkshire's Share of Undistributed Operating Earnings (in millions)[2]
American Express Company	11.3%	$228
The Coca-Cola Company	8.1%	144
Freddie Mac	8.6%	127
The Gillette Company	9.0%	53
M&T Bank	6.5%	17
The Washington Post Company	18.3%	30
Wells Fargo & Company	3.6%	108
Berkshire's share of undistributed earnings of major investees		707
Hypothetical tax on these undistributed investee earnings[3]		(99)
Reported operating earnings of Berkshire		1,318
Total look-through earnings of Berkshire		$ 1,926

(1) Does not include shares allocable to minority interests
(2) Calculated on average ownership for the year
(3) The tax rate used is 14%, which is the rate Berkshire pays on the dividends it receives

Investments

Below we present our common stock investments. Those that had a market value of more than $750 million at the end of 1999 are itemized.

Shares	*Company*	*12/31/99* *Cost**	*Market*
		(dollars in millions)	
50,536,900	American Express Company	$1,470	$ 8,402
200,000,000	The Coca-Cola Company	1,299	11,650
59,559,300	Freddie Mac	294	2,803
96,000,000	The Gillette Company	600	3,954
1,727,765	The Washington Post Company	11	960
59,136,680	Wells Fargo & Company	349	2,391
	Others	4,180	6,848
	Total Common Stocks	$8,203	$37,008

* Represents tax-basis cost which, in aggregate, is $691 million less than GAAP cost.

We made few portfolio changes in 1999. As I mentioned earlier, several of the companies in which we have large investments had disappointing business results last year. Nevertheless, we believe these companies have important competitive advantages that will endure over time. This attribute, which makes for good long-term investment results, is one Charlie and I occasionally believe we can identify. More often, however, we can't — not at least with a high degree of conviction. This explains, by the way, why we don't own stocks of tech companies, even though we share the general view that our society will be transformed by their products and services. Our problem — which we can't solve by studying up — is that we have no insights into which participants in the tech field possess a truly *durable* competitive advantage.

Our lack of tech insights, we should add, does not distress us. After all, there are a great many business areas in which Charlie and I have no special capital-allocation expertise. For instance, we bring nothing to the table when it comes to evaluating patents, manufacturing processes or geological prospects. So we simply don't get into judgments in those fields.

If we have a strength, it is in recognizing when we are operating well within our circle of competence and when we are approaching the perimeter. Predicting the long-term economics of companies that operate in fast-changing industries is simply far beyond our perimeter. If others claim predictive skill in those industries — and seem to have their claims validated by the behavior of the stock market — we neither envy nor emulate them. Instead, we just stick with what we understand. If we stray, we will have done so inadvertently, not because we got restless and substituted hope for rationality. Fortunately, it's almost certain there will be opportunities from time to time for Berkshire to do well within the circle we've staked out.

Right now, the prices of the fine businesses we already own are just not that attractive. In other words, we feel much better about the businesses than their stocks. That's why we haven't added to our present holdings. Nevertheless, we haven't yet scaled back our portfolio in a major way: If the choice is between a questionable business at a comfortable price or a comfortable business at a questionable price, we much prefer the latter. What really gets our attention, however, is a comfortable business at a comfortable price.

Our reservations about the prices of securities we own apply also to the general level of equity prices. We have never attempted to forecast what the stock market is going to do in the next month or the next year, and we are not trying to do that now. But, as I point out in the enclosed article, equity investors currently seem wildly optimistic in their expectations about future returns.

We see the growth in corporate profits as being largely tied to the business done in the country (GDP), and we see GDP growing at a real rate of about 3%. In addition, we have hypothesized 2% inflation. Charlie and I have no particular conviction about the accuracy of 2%. However, it's the market's view: Treasury Inflation-Protected Securities (TIPS) yield about two percentage points less than the standard treasury bond, and if you believe inflation rates are going to be higher than that, you can profit by simply buying TIPS and shorting Governments.

If profits do indeed grow along with GDP, at about a 5% rate, the valuation placed on American business is unlikely to climb by much more than that. Add in something for dividends, and you emerge with returns from equities that are dramatically less than most investors have either experienced in the past or expect in the future. If investor expectations become more realistic — and they almost certainly will — the market adjustment is apt to be severe, particularly in sectors in which speculation has been concentrated.

Berkshire will someday have opportunities to deploy major amounts of cash in equity markets — we are confident of that. But, as the song goes, "Who knows where or when?" Meanwhile, if anyone starts explaining to you what is going on in the truly-manic portions of this "enchanted" market, you might remember still another line of song: "Fools give you reasons, wise men never try."

Share Repurchases

Recently, a number of shareholders have suggested to us that Berkshire repurchase its shares. Usually the requests were rationally based, but a few leaned on spurious logic.

There is only one combination of facts that makes it advisable for a company to repurchase its shares: First, the company has available funds — cash plus sensible borrowing capacity — beyond the near-term needs of the business and, second, finds its stock selling in the market below its intrinsic value, conservatively-calculated. To this we add a caveat: Shareholders should have been supplied all the information they need for estimating that value. Otherwise, insiders could take advantage of their uninformed partners and buy out their interests at a fraction of true worth. We have, on rare occasions, seen that happen. Usually, of course, chicanery is employed to drive stock prices up, not down.

The business "needs" that I speak of are of two kinds: First, expenditures that a company must make to maintain its competitive position (e.g., the remodeling of stores at Helzberg's) and, second, optional outlays, aimed at business growth, that management expects will produce more than a dollar of value for each dollar spent (R. C. Willey's expansion into Idaho).

When available funds exceed needs of those kinds, a company with a growth-oriented shareholder population can buy new businesses or repurchase shares. If a company's stock is selling well below intrinsic value, repurchases usually make the most sense. In the mid-1970s, the wisdom of making these was virtually screaming at managements, but few responded. In most cases, those that did made their owners much wealthier than if alternative courses of action had been

pursued. Indeed, during the 1970s (and, spasmodically, for some years thereafter) we searched for companies that were large repurchasers of their shares. This often was a tipoff that the company was both undervalued and run by a shareholder-oriented management.

That day is past. Now, repurchases are all the rage, but are all too often made for an unstated and, in our view, ignoble reason: to pump or support the stock price. The shareholder who chooses to sell today, of course, is benefitted by any buyer, whatever his origin or motives. But the *continuing* shareholder is penalized by repurchases above intrinsic value. Buying dollar bills for $1.10 is not good business for those who stick around.

Charlie and I admit that we feel confident in estimating intrinsic value for only a portion of traded equities and then only when we employ a range of values, rather than some pseudo-precise figure. Nevertheless, it appears to us that many companies now making repurchases are overpaying departing shareholders at the expense of those who stay. In defense of those companies, I would say that it is natural for CEOs to be optimistic about their own businesses. They also know a whole lot more about them than I do. However, I can't help but feel that too often today's repurchases are dictated by management's desire to "show confidence" or be in fashion rather than by a desire to enhance per-share value.

Sometimes, too, companies say they are repurchasing shares to offset the shares issued when stock options granted at much lower prices are exercised. This "buy high, sell low" strategy is one many unfortunate investors have employed — but never intentionally! Managements, however, seem to follow this perverse activity very cheerfully.

Of course, both option grants and repurchases may make sense — but if that's the case, it's not because the two activities are logically related. Rationally, a company's decision to repurchase shares or to issue them should stand on its own feet. Just because stock has been issued to satisfy options — or for any other reason — does not mean that stock should be repurchased at a price above intrinsic value. Correspondingly, a stock that sells well below intrinsic value should be repurchased whether or not stock has previously been issued (or may be because of outstanding options).

You should be aware that, at certain times in the past, I have erred in *not* making repurchases. My appraisal of Berkshire's value was then too conservative or I was too enthused about some alternative use of funds. We have therefore missed some opportunities — though Berkshire's trading volume at these points was too light for us to have done much buying, which means that the gain in our per-share value would have been minimal. (A repurchase of, say, 2% of a company's shares at a 25% discount from per-share intrinsic value produces only a ½% gain in that value at most — and even less if the funds could alternatively have been deployed in value-building moves.)

Some of the letters we've received clearly imply that the writer is unconcerned about intrinsic value considerations but instead wants us to trumpet an intention to repurchase so that the stock will rise (or quit going down). If the writer wants to sell tomorrow, his thinking makes sense — for him! — but if he intends to hold, he should instead hope the stock falls and trades in enough volume for us to buy a lot of it. That's the only way a repurchase program can have any real benefit for a continuing shareholder.

We will not repurchase shares unless we believe Berkshire stock is selling well below intrinsic value, conservatively calculated. Nor will we attempt to talk the stock up or down. (Neither publicly or privately have I ever told anyone to buy or sell Berkshire shares.) Instead we will give all shareholders — and potential shareholders — the same valuation-related information we would wish to have if our positions were reversed.

Recently, when the A shares fell below $45,000, we considered making repurchases. We decided, however, to delay buying, if indeed we elect to do *any*, until shareholders have had the chance to review this report. If we do find that repurchases make sense, we will only rarely place bids on the New York Stock Exchange ("NYSE"). Instead, we will respond to offers made directly to us at or below the NYSE bid. If you wish to offer stock, have your broker call Mark Millard at 402-346-1400. When a trade occurs, the broker can either record it in the "third market" or on the NYSE. We will favor purchase of the B shares if they are selling at more than a 2% discount to the A. We will not engage in transactions involving fewer than 10 shares of A or 50 shares of B.

Please be clear about one point: We will *never* make purchases with the intention of stemming a decline in Berkshire's price. Rather we will make them if and when we believe that they represent an attractive use of the Company's money. At best, repurchases are likely to have only a very minor effect on the future rate of gain in our stock's intrinsic value.

Shareholder-Designated Contributions

About 97.3% of all eligible shares participated in Berkshire's 1999 shareholder-designated contributions program, with contributions totaling $17.2 million. A full description of the program appears on pages 70 - 71.

Cumulatively, over the 19 years of the program, Berkshire has made contributions of $147 million pursuant to the instructions of our shareholders. The rest of Berkshire's giving is done by our subsidiaries, which stick to the philanthropic patterns that prevailed before they were acquired (except that their former owners themselves take on the responsibility for their personal charities). In aggregate, our subsidiaries made contributions of $13.8 million in 1999, including in-kind donations of $2.5 million.

To participate in future programs, you must own Class A shares that are registered in the name of the actual owner, not the nominee name of a broker, bank or depository. Shares not so registered on August 31, 2000, will be ineligible for the 2000 program. When you get the contributions form from us, return it promptly so that it does not get put aside or forgotten. Designations received after the due date will not be honored.

The Annual Meeting

This year's Woodstock Weekend for Capitalists will follow a format slightly different from that of recent years. We need to make a change because the Aksarben Coliseum, which served us well the past three years, is gradually being closed down. Therefore, we are relocating to the Civic Auditorium (which is on Capitol Avenue between 18th and 19th, behind the Doubletree Hotel), the only other facility in Omaha offering the space we require.

The Civic, however, is located in downtown Omaha, and we would create a parking and traffic nightmare if we were to meet there on a weekday. We will, therefore, convene on Saturday, April 29, with the doors opening at 7 a.m., the movie beginning at 8:30 and the meeting itself commencing at 9:30. As in the past, we will run until 3:30 with a short break at noon for food, which will be available at the Civic's concession stands.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. In our normal fashion, we will run buses from the larger hotels to the meeting. After the meeting, the buses will make trips back to the hotels and to Nebraska Furniture Mart, Borsheim's and the airport. Even so, you are likely to find a car useful.

We have scheduled the meeting in 2002 and 2003 on the customary first Saturday in May. In 2001, however, the Civic is already booked on that Saturday, so we will meet on April 28. The Civic should fit our needs well on any weekend, since there will then be more than ample parking in nearby lots and garages as well as on streets. We will also be able to greatly enlarge the space we give exhibitors. So, overcoming my normal commercial reticence, I will see that you have a wide display of Berkshire products at the Civic that you can *purchase*. As a benchmark, in 1999 shareholders bought 3,059 pounds of See's candy, $16,155 of World Book Products, 1,928 pairs of Dexter shoes, 895 sets of Quikut knives, 1,752 golf balls with the Berkshire Hathaway logo and 3,446 items of Berkshire apparel. I know you can do better.

Last year, we also initiated the sale of at least eight fractions of Executive Jet aircraft. We will again have an array of models at the Omaha airport for your inspection on Saturday and Sunday. Ask an EJA representative at the Civic about viewing any of these planes.

Dairy Queen will also be on hand at the Civic and again will donate all proceeds to the Children's Miracle Network. Last year we sold 4,586 Dilly® bars, fudge bars and vanilla/orange bars. Additionally, GEICO will have a booth that will be staffed by a number of our top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to offer you a special shareholder's discount. Bring the details of your existing insurance, and check out whether we can save you some money.

Finally, Ajit Jain and his associates will be on hand to offer both no-commission annuities and a liability policy with jumbo limits of a size rarely available elsewhere. Talk to Ajit and learn how to protect yourself and your family against a $10 million judgment.

NFM's newly remodeled complex, located on a 75-acre site on 72nd Street between Dodge and Pacific, is open from 10 a.m. to 9 p.m. on weekdays and 10 a.m. to 6 p.m. on Saturdays and Sundays. This operation offers an unrivaled breadth of merchandise — furniture, electronics, appliances, carpets and computers — all at can't-be-beat prices. In 1999 NFM did more than $300 million of business at its 72nd Street location, which in a metropolitan area of 675,000 is an absolute miracle. During the Thursday, April 27 to Monday, May 1 period, any shareholder presenting his or her meeting credential will receive a discount that is customarily given only to employees. We have offered this break to shareholders the last couple of years, and sales have been amazing. In last year's five-day "Berkshire Weekend," NFM's volume was $7.98 million, an increase of 26% from 1998 and 51% from 1997.

Borsheim's — the largest jewelry store in the country except for Tiffany's Manhattan store — will have two shareholder-only events. The first will be a champagne and dessert party from 6 p.m.-10 p.m. on Friday, April 28. The second, the main gala, will be from 9 a.m. to 6 p.m. on Sunday, April 30. On that day, Charlie and I will be on hand to sign *sales tickets*. Shareholder prices will be available Thursday through Monday, so if you wish to avoid the largest crowds, which will form on Friday evening and Sunday, come at other times and identify yourself as a shareholder. On Saturday, we will be open until 7 p.m. Borsheim's operates on a gross margin that is fully twenty percentage points below that of its major rivals, so be prepared to be blown away by both our prices and selection.

In the mall outside of Borsheim's, we will again have Bob Hamman — the best bridge player the game has ever seen — available to play with our shareholders on Sunday. We will also have a few other experts playing at additional tables. In 1999, we had more demand than tables, but we will cure that problem this year.

Patrick Wolff, twice US chess champion, will again be in the mall playing blindfolded against all comers. He tells me that he has never tried to play more than four games simultaneously while handicapped this way but might try to bump that limit to five or six this year. If you're a chess fan, take Patrick on — but be sure to check his blindfold before your first move.

Gorat's — my favorite steakhouse — will again be open exclusively for Berkshire shareholders on Sunday, April 30, and will be serving from 4 p.m. until about midnight. Please remember that you can't come to Gorat's on Sunday without a reservation. To make one, call 402-551-3733 on April 3 (*but not before*). If Sunday is sold out, try Gorat's on one of the other evenings you will be in town. I make a "quality check" of Gorat's about once a week and can report that their rare T-bone (with a double order of hash browns) is still unequaled throughout the country.

The usual baseball game will be held at Rosenblatt Stadium at 7 p.m. on Saturday night. This year the Omaha Golden Spikes will play the Iowa Cubs. Come early, because that's when the real action takes place. Those who attended last year saw your Chairman pitch to Ernie Banks.

This encounter proved to be the titanic duel that the sports world had long awaited. After the first few pitches — which were not my best, but when have I ever thrown my best? — I fired a brushback at Ernie just to let him know who was in command. Ernie charged the mound, and I charged the plate. But a clash was avoided because we became exhausted before reaching each other.

Ernie was dissatisfied with his performance last year and has been studying the game films all winter. As you may know, Ernie had 512 home runs in his career as a Cub. Now that he has spotted telltale weaknesses in my delivery, he expects to get #513 on April 29. I, however, have learned new ways to disguise my "flutterball." Come and watch this matchup.

I should add that I have extracted a promise from Ernie that he will not hit a "come-backer" at me since I would never be able to duck in time to avoid it. My reflexes are like Woody Allen's, who said his were so slow that he was once hit by a car being pushed by two guys.

Our proxy statement contains instructions about obtaining tickets to the game and also a large quantity of other information that should help you enjoy your visit in Omaha. Join us at the Capitalist Caper on Capitol Avenue.

Warren E. Buffett
March 1, 2000 Chairman of the Board

Note: The following table appears in the printed Annual Report on the facing page of the Chairman's Letter and is referred to in that letter.

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
Average Annual Gain – 1965-2000	23.6%	11.8%	11.8%
Overall Gain – 1964-2000	207,821%	5,383%	202,438%

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our gain in net worth during 2000 was $3.96 billion, which increased the per-share book value of both our Class A and Class B stock by 6.5%. Over the last 36 years (that is, since present management took over) per-share book value has grown from $19 to $40,442, a gain of 23.6% compounded annually.*

Overall, we had a decent year, our book-value gain having outpaced the performance of the S&P 500. And, though this judgment is necessarily subjective, we believe Berkshire's gain in per-share intrinsic value moderately exceeded its gain in book value. (Intrinsic value, as well as other key investment and accounting terms and concepts, are explained in our Owner's Manual on pages 59-66. Intrinsic value is discussed on page 64.)

Furthermore, we completed two significant acquisitions that we negotiated in 1999 and initiated six more. All told, these purchases have cost us about $8 billion, with 97% of that amount paid in cash and 3% in stock. The eight businesses we've acquired have aggregate sales of about $13 billion and employ 58,000 people. Still, we incurred no debt in making these purchases, and our shares outstanding have increased only $^1/_3$ of 1%. Better yet, we remain awash in liquid assets and are both eager and ready for even larger acquisitions.

I will detail our purchases in the next section of the report. But I will tell you now that we have embraced the 21st century by entering such cutting-edge industries as brick, carpet, insulation and paint. Try to control your excitement.

On the minus side, policyholder growth at GEICO slowed to a halt as the year progressed. It has become much more expensive to obtain new business. I told you last year that we would get our money's worth from stepped-up advertising at GEICO in 2000, but I was wrong. We'll examine the reasons later in the report.

Another negative — which has persisted for several years — is that we see our equity portfolio as only mildly attractive. We own stocks of some excellent businesses, but most of our holdings are fully priced and are unlikely to deliver more than moderate returns in the future. We're not alone in facing this problem: The long-term prospect for equities in general is far from exciting.

Finally, there is the negative that recurs annually: Charlie Munger, Berkshire's Vice Chairman and my partner, and I are a year older than when we last reported to you. Mitigating this adverse development is the indisputable fact that the age of your top managers is increasing at a considerably lower rate — *percentage-wise* — than is the case at almost all other major corporations. Better yet, this differential will widen in the future.

Charlie and I continue to aim at increasing Berkshire's per-share value at a rate that, over time, will modestly exceed the gain from owning the S&P 500. As the table on the facing page shows, a small annual advantage in our favor can, if sustained, produce an anything-but-small long-term advantage. To reach our goal we will need to add a few good businesses to Berkshire's stable each year, have the businesses we own generally gain in value, and avoid any material increase in our outstanding shares. We are confident about meeting the last two objectives; the first will require some luck.

It's appropriate here to thank two groups that made my job both easy and fun last year — just as they do every year. First, our operating managers continue to run their businesses in splendid fashion, which allows me to spend my time allocating capital rather than supervising them. (I wouldn't be good at that anyway.)

*All figures used in this report apply to Berkshire's A shares, the successor to the only stock that the company had outstanding before 1996. The B shares have an economic interest equal to 1/30th that of the A.

Our managers are a very special breed. At most large companies, the truly talented divisional managers seldom have the job they really want. Instead they yearn to become CEOs, either at their present employer or elsewhere. Indeed, if they stay put, they and their colleagues are likely to feel they have failed.

At Berkshire, our all-stars have *exactly* the jobs they want, ones that they hope and expect to keep throughout their business lifetimes. They therefore concentrate solely on maximizing the long-term value of the businesses that they "own" and love. If the businesses succeed, they have succeeded. And they stick with us: In our last 36 years, Berkshire has never had a manager of a significant subsidiary voluntarily leave to join another business.

The other group to which I owe enormous thanks is the home-office staff. After the eight acquisitions more than doubled our worldwide workforce to about 112,000, Charlie and I went soft last year and added one more person at headquarters. (Charlie, bless him, never lets me forget Ben Franklin's advice: "A small leak can sink a great ship.") Now we have 13.8 people.

This tiny band works miracles. In 2000 it handled all of the details connected with our eight acquisitions, processed extensive regulatory and tax filings (our tax return covers 4,896 pages), smoothly produced an annual meeting to which 25,000 tickets were issued, and accurately dispensed checks to 3,660 charities designated by our shareholders. In addition, the group dealt with all the routine tasks served up by a company with a revenue run-rate of $40 billion and more than 300,000 owners. And, to add to all of this, the other 12.8 are a delight to be around.

I should pay to have my job.

Acquisitions of 2000

Our acquisition technique at Berkshire is simplicity itself: We answer the phone. I'm also glad to report that it rings a bit more often now, because owners and/or managers increasingly wish to join their companies with Berkshire. Our acquisition criteria are set forth on page 23, and the number to call is 402-346-1400.

Let me tell you a bit about the businesses we have purchased during the past 14 months, starting with the two transactions that were initiated in 1999, but closed in 2000. (This list excludes some smaller purchases that were made by the managers of our subsidiaries and that, in most cases, will be integrated into their operations.)

- I described the first purchase — 76% of **MidAmerican Energy** — in last year's report. Because of regulatory constraints on our voting privileges, we perform only a "one-line" consolidation of MidAmerican's earnings and equity in our financial statements. If we instead fully consolidated the company's figures, our revenues in 2000 would have been $5 billion greater than we reported, though net income would remain the same.

- On November 23, 1999, I received a one-page fax from Bruce Cort that appended a *Washington Post* article describing an aborted buyout of **CORT Business Services**. Despite his name, Bruce has no connection with CORT. Rather, he is an airplane broker who had sold Berkshire a jet in 1986 and who, before the fax, had not been in touch with me for about ten years.

  I knew nothing about CORT, but I immediately printed out its SEC filings and liked what I saw. That same day I told Bruce I had a possible interest and asked him to arrange a meeting with Paul Arnold, CORT's CEO. Paul and I got together on November 29, and I knew at once that we had the right ingredients for a purchase: a fine though unglamorous business, an outstanding manager, and a price (going by that on the failed deal) that made sense.

  Operating out of 117 showrooms, CORT is the national leader in "rent-to-rent" furniture, primarily used in offices but also by temporary occupants of apartments. This business, it should be noted, has no similarity to "rent-to-own" operations, which usually involve the sale of home furnishings and electronics to people having limited income and poor credit.

We quickly purchased CORT for Wesco, our 80%-owned subsidiary, paying about $386 million in cash. You will find more details about CORT's operations in Wesco's 1999 and 2000 annual reports. Both Charlie and I enjoy working with Paul, and CORT looks like a good bet to beat our original expectations.

- Early last year, Ron Ferguson of General Re put me in contact with Bob Berry, whose family had owned **U.S. Liability** for 49 years. This insurer, along with two sister companies, is a medium-sized, highly-respected writer of unusual risks — "excess and surplus lines" in insurance jargon. After Bob and I got in touch, we agreed by phone on a half-stock, half-cash deal.

  In recent years, Tom Nerney has managed the operation for the Berry family and has achieved a rare combination of excellent growth and unusual profitability. Tom is a powerhouse in other ways as well. In addition to having four adopted children (two from Russia), he has an extended family: the Philadelphia Belles, a young-teen girls basketball team that Tom coaches. The team had a 62-4 record last year and finished second in the AAU national tournament.

  Few property-casualty companies are outstanding businesses. We have far more than our share, and U.S. Liability adds luster to the collection.

- **Ben Bridge Jeweler** was another purchase we made by phone, prior to any face-to-face meeting between me and the management. Ed Bridge, who with his cousin, Jon, manages this 65-store West Coast retailer, is a friend of Barnett Helzberg, from whom we bought Helzberg Diamonds in 1995. Upon learning that the Bridge family proposed to sell its company, Barnett gave Berkshire a strong recommendation. Ed then called and explained his business to me, also sending some figures, and we made a deal, again half for cash and half for stock.

  Ed and Jon are fourth generation owner-managers of a business started 89 years ago in Seattle. Both the business and the family— including Herb and Bob, the fathers of Jon and Ed — enjoy extraordinary reputations. Same-store sales have increased by 9%, 11%, 13%, 10%, 12%, 21% and 7% over the past seven years, a truly remarkable record.

  It was vital to the family that the company operate in the future as in the past. No one wanted another jewelry chain to come in and decimate the organization with ideas about synergy and cost saving (which, though they would never work, were certain to be tried). I told Ed and Jon that they would be in charge, and they knew I could be believed: After all, it's obvious that your Chairman would be a disaster at actually running a store or selling jewelry (though there are members of his family who have earned black belts as purchasers).

  In their typically classy way, the Bridges allocated a substantial portion of the proceeds from their sale to the hundreds of co-workers who had helped the company achieve its success. We're proud to be associated with both the family and the company.

- In July we acquired **Justin Industries**, the leading maker of Western boots — including the Justin, Tony Lama, Nocona, and Chippewa brands — and the premier producer of brick in Texas and five neighboring states.

  Here again, our acquisition involved serendipity. On May 4th, I received a fax from Mark Jones, a stranger to me, proposing that Berkshire join a group to acquire an unnamed company. I faxed him back, explaining that with rare exceptions we don't invest with others, but would happily pay him a commission if he sent details and we later made a purchase. He replied that the "mystery company" was Justin. I then went to Fort Worth to meet John Roach, chairman of the company and John Justin, who had built the business and was its major shareholder. Soon after, we bought Justin for $570 million in cash.

  John Justin loved Justin Industries but had been forced to retire because of severe health problems (which sadly led to his death in late February). John was a class act — as a citizen, businessman and human being. Fortunately, he had groomed two outstanding managers, Harrold Melton at Acme and Randy Watson at Justin Boot, each of whom runs his company autonomously.

Acme, the larger of the two operations, produces more than one billion bricks per year at its 22 plants, about 11.7% of the industry's national output. The brick business, however, is necessarily regional, and in its territory Acme enjoys unquestioned leadership. When Texans are asked to name a brand of brick, 75% respond Acme, compared to 16% for the runner-up. (Before our purchase, I couldn't have named a brand of brick. Could you have?) This brand recognition is not only due to Acme's product quality, but also reflects many decades of extraordinary community service by both the company and John Justin.

I can't resist pointing out that Berkshire — whose top management has long been mired in the 19th century — is now one of the very few authentic "clicks-and-bricks" businesses around. We went into 2000 with GEICO doing significant business on the Internet, and then we added Acme. You can bet this move by Berkshire is making them *sweat* in Silicon Valley.

- In June, Bob Shaw, CEO of **Shaw Industries**, the world's largest carpet manufacturer, came to see me with his partner, Julian Saul, and the CEO of a second company with which Shaw was mulling a merger. The potential partner, however, faced huge asbestos liabilities from past activities, and any deal depended on these being eliminated through insurance.

  The executives visiting me wanted Berkshire to provide a policy that would pay *all* future asbestos costs. I explained that though we could write an exceptionally large policy — far larger than any other insurer would ever think of offering — we would never issue a policy that lacked a cap.

  Bob and Julian decided that if we didn't want to bet the ranch on the extent of the acquiree's liability, neither did they. So their deal died. But my interest in Shaw was sparked, and a few months later Charlie and I met with Bob to work out a purchase by Berkshire. A key feature of the deal was that both Bob and Julian were to continue owning at least 5% of Shaw. This leaves us associated with the best in the business as shown by Bob and Julian's record: Each built a large, successful carpet business before joining forces in 1998.

  Shaw has annual sales of about $4 billion, and we own 87.3% of the company. Leaving aside our insurance operation, Shaw is by far our largest business. Now, if people walk all over us, we won't mind.

- In July, Bob Mundheim, a director of **Benjamin Moore Paint**, called to ask if Berkshire might be interested in acquiring it. I knew Bob from Salomon, where he was general counsel during some difficult times, and held him in very high regard. So my answer was "Tell me more."

  In late August, Charlie and I met with Richard Roob and Yvan Dupuy, past and present CEOs of Benjamin Moore. We liked them; we liked the business; and we made a $1 billion cash offer on the spot. In October, their board approved the transaction, and we completed it in December. Benjamin Moore has been making paint for 117 years and has thousands of independent dealers that are a vital asset to its business. Make sure you specify our product for your next paint job.

- Finally, in late December, we agreed to buy **Johns Manville Corp.** for about $1.8 billion. This company's incredible odyssey over the last few decades — too multifaceted to be chronicled here — was shaped by its long history as a manufacturer of asbestos products. The much-publicized health problems that affected many people exposed to asbestos led to JM's declaring bankruptcy in 1982.

  Subsequently, the bankruptcy court established a trust for victims, the major asset of which was a controlling interest in JM. The trust, which sensibly wanted to diversify its assets, agreed last June to sell the business to an LBO buyer. In the end, though, the LBO group was unable to obtain financing.

Consequently, the deal was called off on Friday, December 8th. The following Monday, Charlie and I called Bob Felise, chairman of the trust, and made an all-cash offer with no financing contingencies. The next day the trustees voted tentatively to accept our offer, and a week later we signed a contract.

JM is the nation's leading producer of commercial and industrial insulation and also has major positions in roofing systems and a variety of engineered products. The company's sales exceed $2 billion and the business has earned good, if cyclical, returns. Jerry Henry, JM's CEO, had announced his retirement plans a year ago, but I'm happy to report that Charlie and I have convinced him to stick around.

* * * * * * * * * * * *

Two economic factors probably contributed to the rush of acquisition activity we experienced last year. First, many managers and owners foresaw near-term slowdowns in their businesses — and, in fact, we purchased several companies whose earnings will almost certainly decline this year from peaks they reached in 1999 or 2000. The declines make no difference to us, given that we expect all of our businesses to now and then have ups and downs. (Only in the sales presentations of investment banks do earnings move forever upward.) We don't care about the bumps; what matters are the overall results. But the decisions of other people are sometimes affected by the near-term outlook, which can both spur sellers and temper the enthusiasm of purchasers who might otherwise compete with us.

A second factor that helped us in 2000 was that the market for junk bonds dried up as the year progressed. In the two preceding years, junk bond purchasers had relaxed their standards, buying the obligations of ever-weaker issuers at inappropriate prices. The effects of this laxity were felt last year in a ballooning of defaults. In this environment, "financial" buyers of businesses — those who wish to buy using only a sliver of equity — became unable to borrow all they thought they needed. What they could still borrow, moreover, came at a high price. Consequently, LBO operators became less aggressive in their bidding when businesses came up for sale last year. Because we analyze purchases on an all-equity basis, our evaluations did not change, which means we became considerably more competitive.

Aside from the economic factors that benefited us, we now enjoy a major and growing advantage in making acquisitions in that we are often the buyer of choice for the seller. That fact, of course, doesn't assure a deal — sellers have to like our price, and we have to like their business and management — but it does help.

We find it meaningful when an owner *cares* about whom he sells to. We like to do business with someone who loves his company, not just the money that a sale will bring him (though we certainly understand why he likes that as well). When this emotional attachment exists, it signals that important qualities will likely be found within the business: honest accounting, pride of product, respect for customers, and a loyal group of associates having a strong sense of direction. The reverse is apt to be true, also. When an owner auctions off his business, exhibiting a total lack of interest in what follows, you will frequently find that it has been dressed up for sale, particularly when the seller is a "financial owner." And if owners behave with little regard for their business and its people, their conduct will often contaminate attitudes and practices throughout the company.

When a business masterpiece has been created by a lifetime — or several lifetimes — of unstinting care and exceptional talent, it should be important to the owner what corporation is entrusted to carry on its history. Charlie and I believe Berkshire provides an almost unique home. We take our obligations to the people who created a business very seriously, and Berkshire's ownership structure ensures that we can fulfill our promises. When we tell John Justin that his business will remain headquartered in Fort Worth, or assure the Bridge family that its operation will not be merged with another jeweler, these sellers can take those promises to the bank.

How much better it is for the "painter" of a business Rembrandt to personally select its permanent home than to have a trust officer or uninterested heirs auction it off. Throughout the years we have had great experiences with those who recognize that truth and apply it to their business creations. We'll leave the auctions to others.

The Economics of Property/Casualty Insurance

Our main business — though we have others of great importance — is insurance. To understand Berkshire, therefore, it is necessary that you understand how to evaluate an insurance company. The key determinants are: (1) the amount of float that the business generates; (2) its cost; and (3) most critical of all, the long-term outlook for both of these factors.

To begin with, float is money we hold but don't own. In an insurance operation, float arises because premiums are received before losses are paid, an interval that sometimes extends over many years. During that time, the insurer invests the money. This pleasant activity typically carries with it a downside: The premiums that an insurer takes in usually do not cover the losses and expenses it eventually must pay. That leaves it running an "underwriting loss," which is the cost of float. An insurance business has value if its cost of float over time is less than the cost the company would otherwise incur to obtain funds. But the business is a lemon if its cost of float is higher than market rates for money.

A caution is appropriate here: Because loss costs must be estimated, insurers have enormous latitude in figuring their underwriting results, and that makes it very difficult for investors to calculate a company's true cost of float. Errors of estimation, usually innocent but sometimes not, can be huge. The consequences of these miscalculations flow directly into earnings. An experienced observer can usually detect large-scale errors in reserving, but the general public can typically do no more than accept what's presented, and at times I have been amazed by the numbers that big-name auditors have implicitly blessed. Both the income statements and balance sheets of insurers can be minefields.

At Berkshire, we strive to be both consistent and conservative in our reserving. But we will make mistakes. And we warn you that there is nothing symmetrical about surprises in the insurance business: They almost always are unpleasant.

The table that follows shows (at intervals) the float generated by the various segments of Berkshire's insurance operations since we entered the business 34 years ago upon acquiring National Indemnity Company (whose traditional lines are included in the segment "Other Primary"). For the table we have calculated our float — which we generate in large amounts relative to our premium volume — by adding net loss reserves, loss adjustment reserves, funds held under reinsurance assumed and unearned premium reserves, and then subtracting insurance-related receivables, prepaid acquisition costs, prepaid taxes and deferred charges applicable to assumed reinsurance. (Don't panic, there won't be a quiz.)

Yearend Float (in $ millions)

Year	GEICO	General Re	Other Reinsurance	Other Primary	Total
1967				20	20
1977			40	131	171
1987			701	807	1,508
1997	2,917		4,014	455	7,386
1998	3,125	14,909	4,305	415	22,754
1999	3,444	15,166	6,285	403	25,298
2000	3,943	15,525	7,805	598	27,871

We're pleased by the growth in our float during 2000 but not happy with its cost. Over the years, our cost of float has been very close to zero, with the underwriting profits realized in most years offsetting the occasional terrible year such as 1984, when our cost was a staggering 19%. In 2000, however, we had an underwriting loss of $1.6 billion, which gave us a float cost of 6%. Absent a mega-catastrophe, we expect our float cost to fall in 2001 — perhaps substantially — in large part because of corrections in pricing at General Re that should increasingly be felt as the year progresses. On a smaller scale, GEICO may experience the same improving trend.

There are two factors affecting our cost of float that are very rare at other insurers but that now loom large at Berkshire. First, a few insurers that are currently experiencing large losses have offloaded a significant portion of

these on us in a manner that penalizes our current earnings but gives us float we can use for many years to come. After the loss that we incur in the first year of the policy, there are *no* further costs attached to this business.

When these policies are properly priced, we welcome the pain-today, gain-tomorrow effects they have. In 1999, $400 million of our underwriting loss (about 27.8% of the total) came from business of this kind and in 2000 the figure was $482 million (34.4% of our loss). We have no way of predicting how much similar business we will write in the future, but what we do get will typically be in large chunks. Because these transactions can materially distort our figures, we will tell you about them as they occur.

Other reinsurers have little taste for this insurance. They simply can't stomach what huge underwriting losses do to their reported results, even though these losses are produced by policies whose overall economics are certain to be favorable. You should be careful, therefore, in comparing our underwriting results with those of other insurers.

An even more significant item in our numbers — which, again, you won't find much of elsewhere — arises from transactions in which we assume *past* losses of a company that wants to put its troubles behind it. To illustrate, the XYZ insurance company might have last year bought a policy obligating us to pay the first $1 billion of losses and loss adjustment expenses from events that happened in, say, 1995 and earlier years. These contracts can be very large, though we always require a cap on our exposure. We entered into a number of such transactions in 2000 and expect to close several more in 2001.

Under GAAP accounting, this "retroactive" insurance neither benefits nor penalizes our current earnings. Instead, we set up an asset called "deferred charges applicable to assumed reinsurance," in an amount reflecting the difference between the premium we receive and the (higher) losses we expect to pay (for which reserves are immediately established). We then amortize this asset by making annual charges to earnings that create equivalent underwriting losses. You will find the amount of the loss that we incur from these transactions in both our quarterly and annual management discussion. By their nature, these losses will continue for many years, often stretching into decades. As an offset, though, we have the use of float — lots of it.

Clearly, float carrying an annual cost of this kind is not as desirable as float we generate from policies that are expected to produce an underwriting profit (of which we have plenty). Nevertheless, this retroactive insurance should be decent business for us.

The net of all this is that a) I expect our cost of float to be very attractive in the future but b) rarely to return to a "no-cost" mode because of the annual charge that retroactive reinsurance will lay on us. Also — obviously — the ultimate benefits that we derive from float will depend not only on its cost but, fully as important, how effectively we deploy it.

Our retroactive business is almost single-handedly the work of Ajit Jain, whose praises I sing annually. It is impossible to overstate how valuable Ajit is to Berkshire. Don't worry about my health; worry about his.

Last year, Ajit brought home a $2.4 billion reinsurance premium, perhaps the largest in history, from a policy that retroactively covers a major U.K. company. Subsequently, he wrote a large policy protecting the Texas Rangers from the possibility that Alex Rodriguez will become permanently disabled. As sports fans know, "A-Rod" was signed for $252 million, a record, and we think that our policy probably also set a record for disability insurance. We cover many other sports figures as well.

In another example of his versatility, Ajit last fall negotiated a very interesting deal with Grab.com, an Internet company whose goal was to attract millions of people to its site and there to extract information from them that would be useful to marketers. To lure these people, Grab.com held out the possibility of a $1 billion prize (having a $170 million present value) and we insured its payment. A message on the site explained that the chance of anyone winning the prize was low, and indeed no one won. But the possibility of a win was far from nil.

Writing such a policy, we receive a modest premium, face the possibility of a huge loss, and get good odds. Very few insurers like that equation. And they're unable to cure their unhappiness by reinsurance. Because each policy has unusual — and sometimes unique — characteristics, insurers can't lay off the occasional shock loss

through their standard reinsurance arrangements. Therefore, any insurance CEO doing a piece of business like this must run the small, but real, risk of a horrible quarterly earnings number, one that he would not enjoy explaining to his board or shareholders. Charlie and I, however, like any proposition that makes compelling mathematical sense, regardless of its effect on reported earnings.

At General Re, the news has turned considerably better: Ron Ferguson, along with Joe Brandon, Tad Montross, and a talented supporting cast took many actions during 2000 to bring that company's profitability back to past standards. Though our pricing is not fully corrected, we have significantly repriced business that was severely unprofitable or dropped it altogether. If there's no mega-catastrophe in 2001, General Re's float cost should fall materially.

The last couple of years haven't been any fun for Ron and his crew. But they have stepped up to tough decisions, and Charlie and I applaud them for these. General Re has several important and enduring business advantages. Better yet, it has managers who will make the most of them.

In aggregate, our smaller insurance operations produced an excellent underwriting profit in 2000 while generating significant float — just as they have done for more than a decade. If these companies were a single and separate operation, people would consider it an outstanding insurer. Because the companies instead reside in an enterprise as large as Berkshire, the world may not appreciate their accomplishments — but I sure do. Last year I thanked Rod Eldred, John Kizer, Don Towle and Don Wurster, and I again do so. In addition, we now also owe thanks to Tom Nerney at U.S. Liability and Michael Stearns, the new head of Cypress.

You may notice that Brad Kinstler, who *was* CEO of Cypress and whose praises I've sung in the past, is no longer in the list above. That's because we needed a new manager at Fechheimer Bros., our Cincinnati-based uniform company, and called on Brad. We seldom move Berkshire managers from one enterprise to another, but maybe we should try it more often: Brad is hitting home runs in his new job, just as he always did at Cypress.

GEICO (1-800-847-7536 or GEICO.com)

We show below the usual table detailing GEICO's growth. Last year I enthusiastically told you that we would step up our expenditures on advertising in 2000 and that the added dollars were the best investment that GEICO could make. I was wrong: The extra money we spent did not produce a commensurate increase in inquiries. Additionally, the percentage of inquiries that we converted into sales fell for the first time in many years. These negative developments combined to produce a sharp increase in our per-policy acquisition cost.

Years	New Auto Policies[(1)]	Auto Policies In-Force[(1)]
1993	346,882	2,011,055
1994	384,217	2,147,549
1995	443,539	2,310,037
1996	592,300	2,543,699
1997	868,430	2,949,439
1998	1,249,875	3,562,644
1999	1,648,095	4,328,900
2000	1,472,853	4,696,842

(1) "Voluntary" only; excludes assigned risks and the like.

Agonizing over errors is a mistake. But acknowledging and analyzing them can be useful, though that practice is rare in corporate boardrooms. There, Charlie and I have almost never witnessed a candid post-mortem of a failed decision, *particularly one involving an acquisition.* A notable exception to this never-look-back approach is that of The Washington Post Company, which unfailingly and objectively reviews its acquisitions three years after they are made. Elsewhere, triumphs are trumpeted, but dumb decisions either get no follow-up or are rationalized.

The financial consequences of these boners are regularly dumped into massive restructuring charges or write-offs that are casually waved off as "nonrecurring." Managements just love these. Indeed, in recent years it has seemed that no earnings statement is complete without them. The origins of these charges, though, are never explored. When it comes to corporate blunders, CEOs invoke the concept of the Virgin Birth.

To get back to our examination of GEICO: There are at least four factors that could account for the increased costs we experienced in obtaining new business last year, and all probably contributed in some manner.

First, in our advertising we have pushed "frequency" very hard, and we probably overstepped in certain media. We've always known that increasing the number of messages through any medium would eventually produce diminishing returns. The third ad in an hour on a given cable channel is simply not going to be as effective as the first.

Second, we may have already picked much of the low-hanging fruit. Clearly, the willingness to do business with a direct marketer of insurance varies widely among individuals: Indeed, some percentage of Americans — particularly older ones — are reluctant to make direct purchases of any kind. Over the years, however, this reluctance will ebb. A new generation with new habits will find the savings from direct purchase of their auto insurance too compelling to ignore.

Another factor that surely decreased the conversion of inquiries into sales was stricter underwriting by GEICO. Both the frequency and severity of losses increased during the year, and rates in certain areas became inadequate, in some cases substantially so. In these instances, we necessarily tightened our underwriting standards. This tightening, as well as the many rate increases we put in during the year, made our offerings less attractive to some prospects.

A high percentage of callers, it should be emphasized, can still save money by insuring with us. Understandably, however, some prospects will switch to save $200 per year but will not switch to save $50. Therefore, rate increases that bring our prices closer to those of our competitors will hurt our acceptance rate, even when we continue to offer the best deal.

Finally, the competitive picture changed in at least one important respect: State Farm — by far the largest personal auto insurer, with about 19% of the market — has been very slow to raise prices. Its costs, however, are clearly increasing right along with those of the rest of the industry. Consequently, State Farm had an underwriting loss last year from auto insurance (including rebates to policyholders) of 18% of premiums, compared to 4% at GEICO. Our loss produced a float cost for us of 6.1%, an unsatisfactory result. (Indeed, at GEICO we expect float, over time, to be free.) But we estimate that State Farm's float cost in 2000 was about 23%. The willingness of the largest player in the industry to tolerate such a cost makes the economics difficult for other participants.

That does not take away from the fact that State Farm is one of America's greatest business stories. I've urged that the company be studied at business schools because it has achieved fabulous success while following a path that in many ways defies the dogma of those institutions. Studying counter-evidence is a highly useful activity, though not one always greeted with enthusiasm at citadels of learning.

State Farm was launched in 1922, by a 45-year-old, semi-retired Illinois farmer, to compete with long-established insurers — haughty institutions in New York, Philadelphia and Hartford — that possessed overwhelming advantages in capital, reputation, and distribution. Because State Farm is a mutual company, its board members and managers could not be owners, and it had no access to capital markets during its years of fast growth. Similarly, the business never had the stock options or lavish salaries that many people think vital if an American enterprise is to attract able managers and thrive.

In the end, however, State Farm eclipsed all its competitors. In fact, by 1999 the company had amassed a tangible net worth exceeding that of all but four American businesses. If you want to read how this happened, get a copy of *The Farmer from Merna*.

Despite State Farm's strengths, however, GEICO has much the better business model, one that embodies significantly lower operating costs. And, when a company is selling a product with commodity-like economic characteristics, being the low-cost producer is all-important. This enduring competitive advantage of GEICO — one it possessed in 1951 when, as a 20-year-old student, I first became enamored with its stock — is the reason that over time it will inevitably increase its market share significantly while simultaneously achieving excellent profits. Our growth will be slow, however, if State Farm elects to continue bearing the underwriting losses that it is now suffering.

Tony Nicely, GEICO's CEO, remains an owner's dream. Everything he does makes sense. He never engages in wishful thinking or otherwise distorts reality, as so many managers do when the unexpected happens. As 2000 unfolded, Tony cut back on advertising that was not cost-effective, and he will continue to do that in 2001 if cutbacks are called for (though we will always maintain a *massive* media presence). Tony has also aggressively filed for price increases where we need them. He looks at the loss reports every day and is never behind the curve. To steal a line from a competitor, we are in good hands with Tony.

I've told you about our profit-sharing arrangement at GEICO that targets only two variables — growth in policies and the underwriting results of seasoned business. Despite the headwinds of 2000, we still had a performance that produced an 8.8% profit-sharing payment, amounting to $40.7 million.

GEICO will be a huge part of Berkshire's future. Because of its rock-bottom operating costs, it offers a great many Americans the cheapest way to purchase a high-ticket product that they *must* buy. The company then couples this bargain with service that consistently ranks high in independent surveys. That's a combination inevitably producing growth and profitability.

In just the last few years, *far* more drivers have learned to associate the GEICO brand with saving money on their insurance. We will pound that theme relentlessly until all Americans are aware of the value that we offer.

Investments

Below we present our common stock investments. Those that had a market value of more than $1 billion at the end of 2000 are itemized.

		12/31/00	
Shares	*Company*	*Cost*	*Market*
		(dollars in millions)	
151,610,700	American Express Company	$1,470	$ 8,329
200,000,000	The Coca-Cola Company	1,299	12,188
96,000,000	The Gillette Company	600	3,468
1,727,765	The Washington Post Company	11	1,066
55,071,380	Wells Fargo & Company	319	3,067
	Others	6,703	9,501
	Total Common Stocks	$10,402	$ 37,619

In 2000, we sold nearly all of our Freddie Mac and Fannie Mae shares, established 15% positions in several mid-sized companies, bought the high-yield bonds of a few issuers (very few — the category is not labeled junk without reason) and added to our holdings of high-grade, mortgage-backed securities. There are no "bargains" among our current holdings: We're content with what we own but far from excited by it.

Many people assume that marketable securities are Berkshire's first choice when allocating capital, but that's not true: Ever since we first published our economic principles in 1983, we have consistently stated that we would rather purchase businesses than stocks. (See number 4 on page 60.) One reason for that preference is personal, in that I love working with our managers. They are high-grade, talented and loyal. And, frankly, I find their business behavior to be more rational and owner-oriented than that prevailing at many public companies.

But there's also a powerful financial reason behind the preference, and that has to do with taxes. The tax code makes Berkshire's owning 80% or more of a business far more profitable for us, proportionately, than our owning a smaller share. When a company we own all of earns $1 million after tax, the entire amount inures to our benefit. If the $1 million is upstreamed to Berkshire, we owe no tax on the dividend. And, if the earnings are retained and we were to sell the subsidiary — not likely at Berkshire! — for $1million more than we paid for it, we would owe no capital gains tax. That's because our "tax cost" upon sale would include both what we paid for the business and all earnings it subsequently retained.

Contrast that situation to what happens when we own an investment in a marketable security. There, if we own a 10% stake in a business earning $10 million after tax, our $1 million share of the earnings is subject to *additional* state and federal taxes of (1) about $140,000 if it is distributed to us (our tax rate on most dividends is 14%); or (2) no less than $350,000 if the $1 million is retained and subsequently captured by us in the form of a capital gain (on which our tax rate is usually about 35%, though it sometimes approaches 40%). We may defer paying the $350,000 by not immediately realizing our gain, but eventually we must pay the tax. In effect, the government is our "partner" twice when we own part of a business through a stock investment, but only once when we own at least 80%.

Leaving aside tax factors, the formula we use for evaluating stocks and businesses is identical. Indeed, the formula for valuing *all* assets that are purchased for financial gain has been unchanged since it was first laid out by a very smart man in about 600 B.C. (though he wasn't smart enough to know it was 600 B.C.).

The oracle was Aesop and his enduring, though somewhat incomplete, investment insight was "a bird in the hand is worth two in the bush." To flesh out this principle, you must answer only three questions. How certain are you that there are indeed birds in the bush? When will they emerge and how many will there be? What is the risk-free interest rate (which we consider to be the yield on long-term U.S. bonds)? If you can answer these three questions, you will know the maximum value of the bush — and the maximum number of the birds you now possess that should be offered for it. And, of course, don't literally think birds. Think dollars.

Aesop's investment axiom, thus expanded and converted into dollars, is immutable. It applies to outlays for farms, oil royalties, bonds, stocks, lottery tickets, and manufacturing plants. And neither the advent of the steam engine, the harnessing of electricity nor the creation of the automobile changed the formula one iota — nor will the Internet. Just insert the correct numbers, and you can rank the attractiveness of all possible uses of capital throughout the universe.

Common yardsticks such as dividend yield, the ratio of price to earnings or to book value, and even growth rates have *nothing* to do with valuation except to the extent they provide clues to the amount and timing of cash flows into and from the business. Indeed, growth can destroy value if it requires cash inputs in the early years of a project or enterprise that exceed the discounted value of the cash that those assets will generate in later years. Market commentators and investment managers who glibly refer to "growth" and "value" styles as contrasting approaches to investment are displaying their ignorance, not their sophistication. Growth is simply a component — usually a plus, sometimes a minus — in the value equation.

Alas, though Aesop's proposition and the third variable — that is, interest rates — are simple, plugging in numbers for the other two variables is a difficult task. Using precise numbers is, in fact, foolish; working with a range of possibilities is the better approach.

Usually, the range must be so wide that no useful conclusion can be reached. Occasionally, though, even very conservative estimates about the future emergence of birds reveal that the price quoted is startlingly low in relation to value. (Let's call this phenomenon the IBT — Inefficient Bush Theory.) To be sure, an investor needs some general understanding of business economics as well as the ability to think independently to reach a well-founded positive conclusion. But the investor does not need brilliance nor blinding insights.

At the other extreme, there are many times when the *most* brilliant of investors can't muster a conviction about the birds to emerge, not even when a very broad range of estimates is employed. This kind of uncertainty frequently occurs when new businesses and rapidly changing industries are under examination. In cases of this sort, *any* capital commitment must be labeled speculative.

Now, speculation — in which the focus is not on what an asset will produce but rather on what the next fellow will pay for it — is neither illegal, immoral nor un-American. But it is not a game in which Charlie and I wish to play. We bring nothing to the party, so why should we expect to take anything home?

The line separating investment and speculation, which is never bright and clear, becomes blurred still further when most market participants have recently enjoyed triumphs. Nothing sedates rationality like large doses of effortless money. After a heady experience of that kind, normally sensible people drift into behavior akin to that of Cinderella at the ball. They know that overstaying the festivities — that is, continuing to speculate in companies that have gigantic valuations relative to the cash they are likely to generate in the future — will eventually bring on pumpkins and mice. But they nevertheless hate to miss a single minute of what is one helluva party. Therefore, the giddy participants all plan to leave just seconds before midnight. There's a problem, though: They are dancing in a room in which the clocks have no hands.

Last year, we commented on the exuberance — and, yes, it was irrational — that prevailed, noting that investor expectations had grown to be several multiples of probable returns. One piece of evidence came from a Paine Webber-Gallup survey of investors conducted in December 1999, in which the participants were asked their opinion about the annual returns investors could expect to realize over the decade ahead. Their answers averaged 19%. That, for sure, was an irrational expectation: For American business as a whole, there couldn't possibly be enough birds in the 2009 bush to deliver such a return.

Far more irrational still were the huge valuations that market participants were then putting on businesses almost certain to end up being of modest or no value. Yet investors, mesmerized by soaring stock prices and ignoring all else, piled into these enterprises. It was as if some virus, racing wildly among investment professionals as well as amateurs, induced hallucinations in which the values of stocks in certain sectors became decoupled from the values of the businesses that underlay them.

This surreal scene was accompanied by much loose talk about "value creation." We readily acknowledge that there has been a huge amount of true value created in the past decade by new or young businesses, and that there is much more to come. But value is destroyed, not created, by any business that loses money over its lifetime, no matter how high its interim valuation may get.

What actually occurs in these cases is wealth *transfer*, often on a massive scale. By shamelessly merchandising birdless bushes, promoters have in recent years moved billions of dollars from the pockets of the public to their own purses (and to those of their friends and associates). The fact is that a bubble market has allowed the creation of bubble companies, entities designed more with an eye to making money *off* investors rather than *for* them. Too often, an IPO, not profits, was the primary goal of a company's promoters. At bottom, the "business model" for these companies has been the old-fashioned chain letter, for which many fee-hungry investment bankers acted as eager postmen.

But a pin lies in wait for every bubble. And when the two eventually meet, a new wave of investors learns some very old lessons: First, many in Wall Street — a community in which quality control is not prized — will sell investors anything they will buy. Second, speculation is most dangerous when it looks easiest.

At Berkshire, we make *no* attempt to pick the few winners that will emerge from an ocean of unproven enterprises. We're not smart enough to do that, and we know it. Instead, we try to apply Aesop's 2,600-year-old equation to opportunities in which we have reasonable confidence as to how many birds are in the bush and when they will emerge (a formulation that my grandsons would probably update to "A girl in a convertible is worth five in the phonebook."). Obviously, we can never precisely predict the timing of cash flows in and out of a business or their exact amount. We try, therefore, to keep our estimates conservative and to focus on industries where business surprises are unlikely to wreak havoc on owners. Even so, we make many mistakes: I'm the fellow, remember, who thought he understood the future economics of trading stamps, textiles, shoes and second-tier department stores.

Lately, the most promising "bushes" have been negotiated transactions for entire businesses, and that pleases us. You should clearly understand, however, that these acquisitions will at best provide us only reasonable returns. Really juicy results from negotiated deals can be anticipated only when capital markets are severely constrained and the whole business world is pessimistic. We are 180 degrees from that point.

Sources of Reported Earnings

The table that follows shows the main sources of Berkshire's reported earnings. In this presentation, purchase-accounting adjustments are not assigned to the specific businesses to which they apply, but are instead aggregated and shown separately. This procedure lets you view the earnings of our businesses as they would have been reported had we not purchased them. For the reasons discussed on page 65, this form of presentation seems to us to be more useful to investors and managers than one utilizing generally accepted accounting principles (GAAP), which require purchase-premiums to be charged off business-by-business. The total net earnings we show in the table are, of course, identical to the GAAP total in our audited financial statements.

	(in millions)			
	Pre-Tax Earnings		*Berkshire's Share of Net Earnings (after taxes and minority interests)*	
	2000	*1999*	*2000*	*1999*
Operating Earnings:				
Insurance Group:				
Underwriting – Reinsurance	$(1,399)	$(1,440)	$(899)	$(927)
Underwriting – GEICO	(224)	24	(146)	16
Underwriting – Other Primary	38	22	24	14
Net Investment Income	2,747	2,482	1,929	1,764
Finance and Financial Products Business	556	125	360	86
Flight Services	213	225	126	132
MidAmerican Energy (76% owned)	197	--	109	--
Retail Operations	175	130	104	77
Scott Fetzer (excluding finance operation)	122	147	80	92
Other Businesses	225	210	134	131
Purchase-Accounting Adjustments	(881)	(739)	(843)	(648)
Corporate Interest Expense	(92)	(109)	(61)	(70)
Shareholder-Designated Contributions	(17)	(17)	(11)	(11)
Other	39	25	30	15
Operating Earnings	1,699	1,085	936	671
Capital Gains from Investments	3,955	1,365	2,392	886
Total Earnings – All Entities	$5,654	$2,450	$3,328	$1,557

Most of our manufacturing, retailing and service businesses did at least reasonably well last year.

The exception was shoes, particularly at Dexter. In our shoe businesses generally, our attempt to keep the bulk of our production in domestic factories has cost us dearly. We face another very tough year in 2001 also, as we make significant changes in how we do business.

I clearly made a mistake in paying what I did for Dexter in 1993. Furthermore, I compounded that mistake in a huge way by using Berkshire shares in payment. Last year, to recognize my error, we charged off all the remaining accounting goodwill that was attributable to the Dexter transaction. We may regain some economic goodwill at Dexter in the future, but we clearly have none at present.

The managers of our shoe businesses are first-class from both a business and human perspective. They are working very hard at a tough — and often terribly painful — job, even though their personal financial circumstances don't require them to do so. They have my admiration and thanks.

On a more pleasant note, we continue to be the undisputed leader in two branches of Aircraft Services — pilot training at FlightSafety (FSI) and fractional ownership of business jets at Executive Jet (EJA). Both companies are run by their remarkable founders.

Al Ueltschi at FSI is now 83 and continues to operate at full throttle. Though I am not a fan of stock splits, I am planning to split Al's age 2-for-1 when he hits 100. (If it works, guess who's next.)

We spent $272 million on flight simulators in 2000, and we'll spend a similar amount this year. Anyone who thinks that the annual charges for depreciation don't reflect a real cost — every bit as real as payroll or raw materials — should get an internship at a simulator company. Every year we spend amounts equal to our depreciation charge simply to stay in the same economic place — and then spend additional sums to grow. And growth is in prospect for FSI as far as the eye can see.

Even faster growth awaits EJA (whose fractional-ownership program is called NetJets®). Rich Santulli is the dynamo behind this business.

Last year I told you that EJA's recurring revenue from monthly management fees and hourly usage grew by 46% in 1999. In 2000 the growth was 49%. I also told you that this was a low-margin business, in which survivors will be few. Margins were indeed slim at EJA last year, in part because of the major costs we are incurring in developing our business in Europe.

Regardless of the cost, you can be sure that EJA's spending on safety will be whatever is needed. Obviously, we would follow this policy under any circumstances, but there's some self-interest here as well: I, my wife, my children, my sisters, my 94-year-old aunt, all but one of our directors, and at least nine Berkshire managers regularly fly in the NetJets program. Given that cargo, I applaud Rich's insistence on unusually high amounts of pilot training (an average of 23 days a year). In addition, our pilots cement their skills by flying 800 or so hours a year. Finally, each flies only one model of aircraft, which means our crews do no switching around among planes with different cockpit and flight characteristics.

EJA's business continues to be constrained by the availability of new aircraft. Still, our customers will take delivery of more than 50 new jets in 2001, 7% of world output. We are confident we will remain the world leader in fractional ownership, in respect to number of planes flying, quality of service, and standards of safety.

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Additional information about our various businesses is given on pages 42-58, where you will also find our segment earnings reported on a GAAP basis. In addition, on pages 67-73, we have rearranged Berkshire's financial data into four segments on a non-GAAP basis, a presentation that corresponds to the way Charlie and I think about the company.

Look-Through Earnings

Reported earnings are an inadequate measure of economic progress at Berkshire, in part because the numbers shown in the table on page 15 include only the dividends we receive from investees — though these dividends typically represent only a small fraction of the earnings attributable to our ownership. To depict something closer to economic reality at Berkshire than reported earnings, though, we employ the concept of "look-through" earnings. As we calculate these, they consist of: (1) the operating earnings reported on page 15; plus; (2) our share of the retained operating earnings of major investees that, under GAAP accounting, are not reflected in our profits, less; (3) an allowance for the tax that would be paid by Berkshire if these retained earnings of investees had instead been distributed to us. When tabulating "operating earnings" here, we exclude purchase-accounting adjustments as well as capital gains and other major non-recurring items.

The following table sets forth our 2000 look-through earnings, though I warn you that the figures can be no more than approximate, since they are based on a number of judgment calls. (The dividends paid to us by these investees have been included in the operating earnings itemized on page 15, mostly under "Insurance Group: Net Investment Income.")

Berkshire's Major Investees	Berkshire's Approximate Ownership at Yearend[1]	Berkshire's Share of Undistributed Operating Earnings (in millions)[2]
American Express Company	11.4%	$265
The Coca-Cola Company	8.1%	160
Freddie Mac	0.3%	106
The Gillette Company	9.1%	51
M&T Bank	7.2%	23
The Washington Post Company	18.3%	18
Wells Fargo & Company	3.2%	117
Berkshire's share of undistributed earnings of major investees		740
Hypothetical tax on these undistributed investee earnings[3]		(104)
Reported operating earnings of Berkshire		1,779
Total look-through earnings of Berkshire		$ 2,415

(1) Does not include shares allocable to minority interests
(2) Calculated on average ownership for the year
(3) The tax rate used is 14%, which is the rate Berkshire pays on most dividends it receives

Full and Fair Reporting

At Berkshire, full reporting means giving you the information that we would wish you to give to us if our positions were reversed. What Charlie and I would want under that circumstance would be all the important facts about current operations as well as the CEO's frank view of the long-term economic characteristics of the business. We would expect both a lot of financial details and a discussion of any significant data we would need to interpret what was presented.

When Charlie and I read reports, we have no interest in pictures of personnel, plants or products. References to EBITDA make us shudder — does management think the tooth fairy pays for capital expenditures? We're very suspicious of accounting methodology that is vague or unclear, since too often that means management wishes to hide something. And we don't want to read messages that a public relations department or consultant has turned out. Instead, we expect a company's CEO to explain in his or her own words what's happening.

For us, fair reporting means getting information to our 300,000 "partners" simultaneously, or as close to that mark as possible. We therefore put our annual and quarterly financials on the Internet between the close of the market on a Friday and the following morning. By our doing that, shareholders and other interested investors have timely access to these important releases and also have a reasonable amount of time to digest the information they include before the markets open on Monday. This year our quarterly information will be available on the Saturdays of May 12, August 11, and November 10. The 2001 annual report will be posted on March 9.

We applaud the work that Arthur Levitt, Jr., until recently Chairman of the SEC, has done in cracking down on the corporate practice of "selective disclosure" that had spread like cancer in recent years. Indeed, it had become virtually standard practice for major corporations to "guide" analysts or large holders to earnings expectations that were intended either to be on the nose or a tiny bit below what the company truly expected to earn. Through the selectively dispersed hints, winks and nods that companies engaged in, speculatively-minded institutions and advisors were given an information edge over investment-oriented individuals. This was corrupt behavior, unfortunately embraced by both Wall Street and corporate America.

Thanks to Chairman Levitt, whose general efforts on behalf of investors were both tireless and effective, corporations are now required to treat all of their owners equally. The fact that this reform came about because of coercion rather than conscience should be a matter of shame for CEOs and their investor relations departments.

One further thought while I'm on my soapbox: Charlie and I think it is both deceptive and dangerous for CEOs to predict growth rates for their companies. They are, of course, frequently egged on to do so by both analysts and their own investor relations departments. They should resist, however, because too often these predictions lead to trouble.

It's fine for a CEO to have his own internal goals and, in our view, it's even appropriate for the CEO to publicly express some hopes about the future, if these expectations are accompanied by sensible caveats. But for a major corporation to predict that its per-share earnings will grow over the long term at, say, 15% annually is to court trouble.

That's true because a growth rate of that magnitude can only be maintained by a very small percentage of large businesses. Here's a test: Examine the record of, say, the 200 highest earning companies from 1970 or 1980 and tabulate how many have increased per-share earnings by 15% annually since those dates. You will find that only a handful have. I would wager you a very significant sum that fewer than 10 of the 200 most profitable companies in 2000 will attain 15% annual growth in earnings-per-share over the next 20 years.

The problem arising from lofty predictions is not just that they spread unwarranted optimism. Even more troublesome is the fact that they corrode CEO behavior. Over the years, Charlie and I have observed many instances in which CEOs engaged in uneconomic operating maneuvers so that they could meet earnings targets they had announced. Worse still, after exhausting all that operating acrobatics would do, they sometimes played a wide variety of accounting games to "make the numbers." These accounting shenanigans have a way of snowballing: Once a company moves earnings from one period to another, operating shortfalls that occur thereafter require it to engage in further accounting maneuvers that must be even more "heroic." These can turn fudging into fraud. (More money, it has been noted, has been stolen with the point of a pen than at the point of a gun.)

Charlie and I tend to be leery of companies run by CEOs who woo investors with fancy predictions. A few of these managers will prove prophetic — but others will turn out to be congenital optimists, or even charlatans. Unfortunately, it's not easy for investors to know in advance which species they are dealing with.

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I've warned you in the past that you should not believe everything you read or hear about Berkshire — even when it is published or broadcast by a prestigious news organization. Indeed, erroneous reports are particularly dangerous when they are circulated by highly-respected members of the media, simply because most readers and listeners know these outlets to be generally credible and therefore believe what they say.

An example is a glaring error about Berkshire's activities that appeared in the December 29 issue of *The Wall Street Journal*, a generally excellent paper that I have for all of my life found useful. On the front page (and above the fold, as they say) *The Journal* published a news brief that said, in unequivocal terms, that we were buying bonds of Conseco and Finova. This item directed the reader to the lead story of the Money and Investing section. There, in the second paragraph of the story, *The Journal* reported, *again without any qualification*, that Berkshire was buying Conseco and Finova bonds, adding that Berkshire had invested "several hundred million dollars" in each. Only in the 18th paragraph of the story (which by that point had jumped to an inside page) did the paper hedge a bit, saying that our Conseco purchases had been disclosed by "people familiar with the matter."

Well, not *that* familiar. True, we had purchased bonds and bank debt of Finova — though the report was wildly inaccurate as to the amount. But to this day neither Berkshire nor I have *ever* bought a share of stock or a bond of Conseco.

Berkshire is normally covered by a *Journal* reporter in Chicago who is both accurate and conscientious. In this case, however, the "scoop" was the product of a New York reporter for the paper. Indeed, the 29th was a busy day for him: By early afternoon, he had repeated the story on CNBC. Immediately, in lemming-like manner, other respected news organizations, relying solely on the *Journal*, began relating the same "facts." The result: Conseco stock advanced sharply during the day on exceptional volume that placed it ninth on the NYSE most-active list.

During all of the story's iterations, I never heard or read the word "rumor." Apparently reporters and editors, who generally pride themselves on their careful use of language, just can't bring themselves to attach this word to their accounts. But what description would fit more precisely? Certainly not the usual "sources say" or "it has been reported."

A column entitled "Today's Rumors," however, would not equate with the self-image of the many news organizations that think themselves above such stuff. These members of the media would feel that publishing such acknowledged fluff would be akin to *L'Osservatore Romano* initiating a gossip column. But rumors are what these organizations often publish and broadcast, whatever euphemism they duck behind. At a minimum, readers deserve honest terminology — a warning label that will protect their financial health in the same way that smokers whose physical health is at risk are given a warning.

The Constitution's First Amendment allows the media to print or say almost anything. Journalism's First Principle should require that the media be scrupulous in deciding what that will be.

Miscellaneous

In last year's report we examined the battle then raging over the use of "pooling" in accounting for mergers. It seemed to us that both sides were voicing arguments that were strong in certain respects and seriously flawed in others. We are pleased that the Financial Accounting Standards Board has since gone to an alternative approach that strikes us as very sound.

If the proposed rule becomes final, we will no longer incur a large annual charge for amortization of intangibles. Consequently, our reported earnings will more closely reflect economic reality. (See page 65.) None of this will have an effect on Berkshire's intrinsic value. Your Chairman, however, will personally benefit in that there will be one less item to explain in these letters.

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I'm enclosing a report — generously supplied by *Outstanding Investor Digest* — of Charlie's remarks at last May's Wesco annual meeting. Charlie thinks about business economics and investment matters better than anyone I know, and I've learned a lot over the years by listening to him. Reading his comments will improve your understanding of Berkshire.

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In 1985, we purchased Scott Fetzer, acquiring not only a fine business but the services of Ralph Schey, a truly outstanding CEO, as well. Ralph was then 61. Most companies, focused on the calendar rather than ability, would have benefited from Ralph's talents for only a few years.

At Berkshire, in contrast, Ralph ran Scott Fetzer for 15 years until his retirement at the end of 2000. Under his leadership, the company distributed $1.03 billion to Berkshire against our net purchase price of $230 million. We used these funds, in turn, to purchase other businesses. All told, Ralph's contributions to Berkshire's present value extend well into the billions of dollars.

As a manager, Ralph belongs in Berkshire's Hall of Fame, and Charlie and I welcome him to it.

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A bit of nostalgia: It was exactly 50 years ago that I entered Ben Graham's class at Columbia. During the decade before, I had enjoyed — make that *loved* ¾ analyzing, buying and selling stocks. But my results were no better than average.

Beginning in 1951 my performance improved. No, I hadn't changed my diet or taken up exercise. The only new ingredient was Ben's ideas. Quite simply, a few hours spent at the feet of the master proved far more valuable to me than had ten years of supposedly original thinking.

In addition to being a great teacher, Ben was a wonderful friend. My debt to him is incalculable.

Shareholder-Designated Contributions

About 97% of all eligible shares participated in Berkshire's 2000 shareholder-designated contributions program, with contributions totaling $16.9 million. A full description of the program appears on pages 74-75.

Cumulatively, over the 20 years of the program, Berkshire has made contributions of $164 million pursuant to the instructions of our shareholders. The rest of Berkshire's giving is done by our subsidiaries, which stick to the philanthropic patterns that prevailed before they were acquired (except that their former owners themselves take on the responsibility for their personal charities). In aggregate, our subsidiaries made contributions of $18.3 million in 2000, including in-kind donations of $3 million.

To participate in future programs, you must own Class A shares that are registered in the name of the actual owner, not the nominee name of a broker, bank or depository. Shares not so registered on August 31, 2001 will be ineligible for the 2001 program. When you get the contributions form from us, return it promptly so that it does not get put aside or forgotten. Designations received after the due date will not be honored.

The Annual Meeting

Last year we moved the annual meeting to the Civic Auditorium, and it worked very well for us. We will meet there again on Saturday, April 28. The doors will open at 7 a.m., the movie will begin at 8:30, and the meeting itself will commence at 9:30. There will be a short break at noon for food, with sandwiches available at the Civic's concession stands. Except for that interlude, Charlie and I will answer questions until 3:30.

For the next couple of years, the Civic is our only choice. We must therefore hold the meeting on either Saturday or Sunday to avoid the traffic and parking nightmare that would occur on a weekday. Shortly, however, Omaha will have a new Convention Center with ample parking. Assuming that the Center is then available to us, I will poll shareholders to see whether you wish to return to a Monday meeting. We will decide that vote based on the wishes of a majority of shareholders, not shares.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to this year's meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. In our normal fashion, we will run buses from the larger hotels to the meeting. After the meeting, the buses will make trips back to the hotels and to Nebraska Furniture Mart, Borsheim's and the airport. Even so, you are likely to find a car useful.

We have added so many new companies to Berkshire this year that I'm not going to detail all of the products that we will be *selling* at the meeting. But come prepared to carry home everything from bricks to candy. One new product, however, deserves special note: Bob Shaw has designed a 3 x 5 rug featuring an excellent likeness of Charlie. Obviously, it would be embarrassing for Charlie — make that humiliating — if slow sales forced us to slash the rug's price, so step up and do your part.

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to offer you a special shareholder's discount (usually 8%). Bring the details of your existing insurance and check out whether we can save you some money.

At the Omaha airport on Saturday, we will have the usual array of aircraft from Executive Jet available for your inspection. Just ask an EJA representative at the Civic about viewing any of these planes. If you buy what we consider an appropriate number of items during the weekend, you may well need your own plane to take them home.

At Nebraska Furniture Mart, located on a 75-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" pricing, which means we will be offering our shareholders a discount that is customarily given only to employees. We initiated this special pricing at NFM four years ago and sales during the "Weekend" grew from $5.3 million in 1997 to $9.1 million in 2000.

To get the discount, you must make your purchases between Wednesday, April 25 and Monday, April 30 and also present your meeting credential. The period's special pricing will even apply to the products of several prestige manufacturers that normally have ironclad rules against discounting but that, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. on weekdays and 10 a.m. to 6 p.m. on Saturdays and Sundays.

Borsheim's — the largest jewelry store in the country except for Tiffany's Manhattan store — will have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 10 p.m. on Friday, April 27. The second, the main gala, will be from 9 a.m. to 5 p.m. on Sunday, April 29. Shareholder prices will be available Thursday through Monday, so if you wish to avoid the large crowds that will assemble on Friday evening and Sunday, come at other times and identify yourself as a shareholder. On Saturday, we will be open until 6 p.m. Borsheim's operates on a gross margin that is fully twenty percentage points below that of its major rivals, so the more you buy, the more you save (or at least that's what my family always tells me).

In the mall outside of Borsheim's, we will have local bridge experts available to play with our shareholders on Sunday. Bob Hamman, who normally is with us, will be in Africa this year. He has promised, however, to be on hand in 2002. Patrick Wolff, twice U.S. chess champion, will also be in the mall, taking on all comers — blindfolded! Last year, Patrick played as many as six games simultaneously — with his blindfold securely in place — and demolished his opponents.

As if all this isn't enough to test your skills, our Borsheim's Olympiad this year will also include Bill Robertie, one of only two players to twice win the backgammon world championship. Backgammon can be a big money game, so bring along your stock certificates.

Gorat's — my favorite steakhouse — will again be open exclusively for Berkshire shareholders on Sunday, April 29, and will be serving from 4 p.m. until 10 p.m. Please remember that you can't come to Gorat's on Sunday without a reservation. To make one, call 402-551-3733 on April 2 (*but not before*). If Sunday is sold out, try Gorat's on one of the other evenings you will be in town. If you order a rare T-bone with a double order of hash browns, you will establish your credentials as an epicure.

The usual baseball game will be held at Rosenblatt Stadium at 7 p.m. on Saturday night. This year the Omaha Golden Spikes will play the New Orleans Zephyrs. Ernie Banks is again going to be on hand to — bravely — face my fastball (once clocked at 95 mpm — miles per month).

My performance last year was not my best: It took me five pitches to throw anything resembling a strike. And, believe me, it gets lonely on the mound when you can't find the plate. Finally, I got one over, and Ernie lashed a line drive to left field. After I was yanked from the game, the many sports writers present asked what I had served up to Ernie. I quoted what Warren Spahn said after Willie Mays hit one of his pitches for a home run (Willie's first in the majors): "It was a helluva pitch for the first sixty feet."

It will be a different story this year. I don't want to tip my hand, so let's just say Ernie will have to deal with a pitch he has never seen before.

Our proxy statement contains instructions about obtaining tickets to the game and also a large quantity of other information that should help you enjoy your visit in Omaha. There will be plenty of action in town. So come for Woodstock Weekend and join our Celebration of Capitalism at the Civic.

Warren E. Buffett
February 28, 2001 Chairman of the Board

Note: The following table appears in the printed Annual Report on the facing page of the Chairman's Letter and is referred to in that letter.

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
Average Annual Gain – 1965-2001	22.6%	11.0%	11.6%
Overall Gain – 1964-2001	194,936%	4,742%	190,194%

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Berkshire's *loss* in net worth during 2001 was $3.77 billion, which decreased the per-share book value of both our Class A and Class B stock by 6.2%. Over the last 37 years (that is, since present management took over) per-share book value has grown from $19 to $37,920, a rate of 22.6% compounded annually.*

Per-share intrinsic grew somewhat faster than book value during these 37 years, and in 2001 it probably decreased a bit less. We explain intrinsic value in our Owner's Manual, which begins on page 62. I urge new shareholders to read this manual to become familiar with Berkshire's key economic principles.

Two years ago, reporting on 1999, I said that we had experienced both the worst absolute and relative performance in our history. I added that "relative results are what concern us," a viewpoint I've had since forming my first investment partnership on May 5, 1956. Meeting with my seven founding limited partners that evening, I gave them a short paper titled "The Ground Rules" that included this sentence: "Whether we do a good job or a poor job is to be measured against the general experience in securities." We initially used the Dow Jones Industrials as our benchmark, but shifted to the S&P 500 when that index became widely used. Our comparative record since 1965 is chronicled on the facing page; last year Berkshire's advantage was 5.7 percentage points.

Some people disagree with our focus on relative figures, arguing that "you can't eat relative performance." But if you expect – as Charlie Munger, Berkshire's Vice Chairman, and I do – that owning the S&P 500 will produce reasonably satisfactory results over time, it follows that, for long-term investors, gaining small advantages annually over that index *must* prove rewarding. Just as you can eat well throughout the year if you own a profitable, but highly seasonal, business such as See's (which loses considerable money during the summer months) so, too, can you regularly feast on investment returns that beat the averages, however variable the absolute numbers may be.

Though our corporate performance last year was satisfactory, *my* performance was anything but. I manage most of Berkshire's equity portfolio, and my results were poor, just as they have been for several years. Of even more importance, I allowed General Re to take on business without a safeguard I knew was important, and on September 11th, this error caught up with us. I'll tell you more about my mistake later and what we are doing to correct it.

Another of my 1956 Ground Rules remains applicable: "I cannot promise results to partners." But Charlie and I *can* promise that your economic result from Berkshire will parallel ours during the period of your ownership: We will not take cash compensation, restricted stock or option grants that would make our results superior to yours.

Additionally, I will keep well over 99% of my net worth in Berkshire. My wife and I have never sold a share nor do we intend to. Charlie and I are disgusted by the situation, so common in the last few years, in which shareholders have suffered billions in losses while the CEOs, promoters, and other higher-ups who fathered these disasters have walked away with extraordinary wealth. Indeed, many of these people were urging investors to buy shares while concurrently dumping their own, sometimes using methods that hid their actions. To their shame, these business leaders view shareholders as patsies, not partners.

Though Enron has become the symbol for shareholder abuse, there is no shortage of egregious conduct elsewhere in corporate America. One story I've heard illustrates the all-too-common attitude of managers toward

*All figures used in this report apply to Berkshire's A shares, the successor to the only stock that the company had outstanding before 1996. The B shares have an ec onomic interest equal to 1/30th that of the A.

owners: A gorgeous woman slinks up to a CEO at a party and through moist lips purrs, "I'll do anything – *anything* – you want. Just tell me what you would like." With no hesitation, he replies, "Reprice my options."

One final thought about Berkshire: In the future we won't come close to replicating our past record. To be sure, Charlie and I will strive for above-average performance and will not be satisfied with less. But two conditions at Berkshire are far different from what they once were: Then, we could often buy businesses and securities at much lower valuations than now prevail; and more important, we were then working with far less money than we now have. Some years back, a good $10 million idea could do wonders for us (witness our investment in Washington Post in 1973 or GEICO in 1976). Today, the combination of *ten* such ideas and a triple in the value of *each* would increase the net worth of Berkshire by only ¼ of 1%. We need "elephants" to make significant gains now – and they are hard to find.

On the positive side, we have as fine an array of operating managers as exists at any company. (You can read about many of them in a new book by Robert P. Miles: *The Warren Buffett CEO*.) In large part, moreover, they are running businesses with economic characteristics ranging from good to superb. The ability, energy and loyalty of these managers is simply extraordinary. We now have completed 37 Berkshire years without having a CEO of an operating business elect to leave us to work elsewhere.

Our star-studded group grew in 2001. First, we completed the purchases of two businesses that we had agreed to buy in 2000 – Shaw and Johns Manville. Then we acquired two others, MiTek and XTRA, and contracted to buy two more: Larson-Juhl, an acquisition that has just closed, and Fruit of the Loom, which will close shortly if creditors approve our offer. All of these businesses are led by smart, seasoned and trustworthy CEOs.

Additionally, all of our purchases last year were for cash, which means our shareholders became owners of these additional businesses without relinquishing any interest in the fine companies they already owned. We will continue to follow our familiar formula, striving to increase the value of the excellent businesses we have, adding new businesses of similar quality, and issuing shares only grudgingly.

Acquisitions of 2001

A few days before last year's annual meeting, I received a heavy package from St. Louis, containing an unprepossessing chunk of metal whose function I couldn't imagine. There was a letter in the package, though, from Gene Toombs, CEO of a company called MiTek. He explained that MiTek is the world's leading producer of this thing I'd received, a "connector plate," which is used in making roofing trusses. Gene also said that the U.K. parent of MiTek wished to sell the company and that Berkshire seemed to him the ideal buyer. Liking the sound of his letter, I gave Gene a call. It took me only a minute to realize that he was our kind of manager and MiTek our kind of business. We made a cash offer to the U.K. owner and before long had a deal.

Gene's managerial crew is exceptionally enthusiastic about the company and wanted to participate in the purchase. Therefore, we arranged for 55 members of the MiTek team to buy 10% of the company, with each putting up a minimum of $100,000 in cash. Many borrowed money so they could participate.

As they would *not* be if they had options, all of these managers are true *owners*. They face the downside of decisions as well as the upside. They incur a cost of capital. And they can't "reprice" their stakes: What they paid is what they live with.

Charlie and I love the high-grade, truly entrepreneurial attitude that exists at MiTek, and we predict it will be a winner for all involved.

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In early 2000, my friend, Julian Robertson, announced that he would terminate his investment partnership, Tiger Fund, and that he would liquidate it entirely except for four large holdings. One of these was XTRA, a leading lessor of truck trailers. I then called Julian, asking whether he might consider selling his XTRA block or whether, for that matter, the company's management might entertain an offer for the entire company. Julian referred me to Lew Rubin, XTRA's CEO. He and I had a nice conversation, but it was apparent that no deal was to be done.

Then in June 2001, Julian called to say that he had decided to sell his XTRA shares, and I resumed conversations with Lew. The XTRA board accepted a proposal we made, which was to be effectuated through a tender offer expiring on September 11th. The tender conditions included the usual "out," allowing us to withdraw if

the stock market were to close before the offer's expiration. Throughout much of the 11th, Lew went through a particularly wrenching experience: First, he had a son-in-law working in the World Trade Center who couldn't be located; and second, he knew we had the option of backing away from our purchase. The story ended happily: Lew's son-in-law escaped serious harm, and Berkshire completed the transaction.

Trailer leasing is a cyclical business but one in which we should earn decent returns over time. Lew brings a new talent to Berkshire, and we hope to expand in leasing.

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On December 3rd, I received a call from Craig Ponzio, owner of Larson-Juhl, the U.S. leader in custom-made picture frames. Craig had bought the company in 1981 (after first working at its manufacturing plant while attending college) and thereafter increased its sales from $3 million to $300 million. Though I had never heard of Larson-Juhl before Craig's call, a few minutes talk with him made me think we would strike a deal. He was straightforward in describing the business, cared about who bought it, and was realistic as to price. Two days later, Craig and Steve McKenzie, his CEO, came to Omaha and in ninety minutes we reached an agreement. In ten days we had signed a contract.

Larson-Juhl serves about 18,000 framing shops in the U.S. and is also the industry leader in Canada and much of Europe. We expect to see opportunities for making complementary acquisitions in the future.

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As I write this letter, creditors are considering an offer we have made for Fruit of the Loom. The company entered bankruptcy a few years back, a victim both of too much debt and poor management. And, a good many years before that, I had some Fruit of the Loom experience of my own.

In August 1955, I was one of five employees, including two secretaries, working for the three managers of Graham-Newman Corporation, a New York investment company. Graham-Newman controlled Philadelphia and Reading Coal and Iron ("P&R"), an anthracite producer that had excess cash, a tax loss carryforward, and a declining business. At the time, I had a significant portion of my limited net worth invested in P&R shares, reflecting my faith in the business talents of my bosses, Ben Graham, Jerry Newman and Howard (Micky) Newman.

This faith was rewarded when P&R purchased the Union Underwear Company from Jack Goldfarb for $15 million. Union (though it was then only a licensee of the name) produced Fruit of the Loom underwear. The company possessed $5 million in cash – $2.5 million of which P&R used for the purchase – and was earning about $3 million pre-tax, earnings that could be sheltered by the tax position of P&R. And, oh yes: Fully $9 million of the remaining $12.5 million due was satisfied by non-interest-bearing notes, payable from 50% of any earnings Union had in excess of $1 million. (*Those* were the days; I get goosebumps just thinking about such deals.)

Subsequently, Union bought the licensor of the Fruit of the Loom name and, along with P&R, was merged into Northwest Industries. Fruit went on to achieve annual pre-tax earnings exceeding $200 million.

John Holland was responsible for Fruit's operations in its most bountiful years. In 1996, however, John retired, and management loaded the company with debt, in part to make a series of acquisitions that proved disappointing. Bankruptcy followed. John was then rehired, and he undertook a major reworking of operations. Before John's return, deliveries were chaotic, costs soared and relations with key customers deteriorated. While correcting these problems, John also reduced employment from a bloated 40,000 to 23,000. In short, he's been restoring the old Fruit of the Loom, albeit in a much more competitive environment.

Stepping into Fruit's bankruptcy proceedings, we made a proposal to creditors to which we attached no financing conditions, even though our offer had to remain outstanding for many months. We did, however, insist on a very unusual proviso: John had to be available to continue serving as CEO after we took over. To us, John and the brand are Fruit's key assets.

I was helped in this transaction by my friend and former boss, Micky Newman, now 81. What goes around truly does come around.

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Our operating companies made several "bolt-on" acquisitions during the year, and I can't resist telling you about one. In December, Frank Rooney called to tell me H.H. Brown was buying the inventory and trademarks of Acme Boot for $700,000.

That sounds like small potatoes. But – would you believe it? – Acme was the second purchase of P&R, an acquisition that took place just before I left Graham-Newman in the spring of 1956. The price was $3.2 million, part of it again paid with non-interest bearing notes, for a business with sales of $7 million.

After P&R merged with Northwest, Acme grew to be the world's largest bootmaker, delivering annual profits many multiples of what the company had cost P&R. But the business eventually hit the skids and never recovered, and that resulted in our purchasing Acme's remnants.

In the frontispiece to *Security Analysis*, Ben Graham and Dave Dodd quoted Horace: "Many shall be restored that now are fallen and many shall fall that are now in honor." Fifty-two years after I first read those lines, my appreciation for what they say about business and investments continues to grow.

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In addition to bolt-on acquisitions, our managers continually look for ways to grow internally. In that regard, here's a postscript to a story I told you two years ago about R.C. Willey's move to Boise. As you may remember, Bill Child, R.C. Willey's chairman, wanted to extend his home-furnishings operation beyond Utah, a state in which his company does more than $300 million of business (up, it should be noted, from $250,000 when Bill took over 48 years ago). The company achieved this dominant position, moreover, with a "closed on Sunday" policy that defied conventional retailing wisdom. I was skeptical that this policy could succeed in Boise or, for that matter, anyplace outside of Utah. After all, Sunday is the day many consumers most like to shop.

Bill then insisted on something extraordinary: He would invest $11 million of his own money to build the Boise store and would sell it to Berkshire at cost (without interest!) if the venture succeeded. If it failed, Bill would keep the store and eat the loss on its disposal. As I told you in the 1999 annual report, the store immediately became a huge success — and it has since grown.

Shortly after the Boise opening, Bill suggested we try Las Vegas, and this time I was even more skeptical. How could we do business in a metropolis of that size and be closed on Sundays, a day that all of our competitors would be exploiting? Buoyed by the Boise experience, however, we proceeded to locate in Henderson, a mushrooming city adjacent to Las Vegas.

The result: This store outsells all others in the R.C. Willey chain, doing a volume of business that far exceeds the volume of any competitor and that is twice what I had anticipated. I cut the ribbon at the grand opening in October – this was after a "soft" opening and a few weeks of exceptional sales – and, just as I did at Boise, I suggested to the crowd that the new store was my idea.

It didn't work. Today, when I pontificate about retailing, Berkshire people just say, "What does Bill think?" (I'm going to draw the line, however, if he suggests that we also close on Saturdays.)

The Economics of Property/Casualty Insurance

Our main business — though we have others of great importance — is insurance. To understand Berkshire, therefore, it is necessary that you understand how to evaluate an insurance company. The key determinants are: (1) the amount of float that the business generates; (2) its cost; and (3) most critical of all, the long-term outlook for both of these factors.

To begin with, float is money we hold but don't own. In an insurance operation, float arises because premiums are received before losses are paid, an interval that sometimes extends over many years. During that time, the insurer invests the money. This pleasant activity typically carries with it a downside: The premiums that an insurer takes in usually do not cover the losses and expenses it eventually must pay. That leaves it running an "underwriting loss," which is the cost of float. An insurance business has value if its cost of float over time is less than the cost the company would otherwise incur to obtain funds. But the business is a lemon if its cost of float is higher than market rates for money.

Historically, Berkshire has obtained its float at a very low cost. Indeed, our cost has been less than zero in about half of the years in which we've operated; that is, we've actually been paid for holding other people's money. Over the last few years, however, our cost has been too high, and in 2001 it was terrible.

The table that follows shows (at intervals) the float generated by the various segments of Berkshire's insurance operations since we entered the business 35 years ago upon acquiring National Indemnity Company (whose traditional lines are included in the segment "Other Primary"). For the table we have calculated our float — which we generate in large amounts relative to our premium volume — by adding net loss reserves, loss adjustment reserves, funds held under reinsurance assumed and unearned premium reserves, and then subtracting insurance-related receivables, prepaid acquisition costs, prepaid taxes and deferred charges applicable to assumed reinsurance. (Got that?)

Yearend Float (in $ millions)

Year	GEICO	General Re	Other Reinsurance	Other Primary	Total
1967				20	20
1977			40	131	171
1987			701	807	1,508
1997	2,917		4,014	455	7,386
1998	3,125	14,909	4,305	415	22,754
1999	3,444	15,166	6,285	403	25,298
2000	3,943	15,525	7,805	598	27,871
2001	4,251	19,310	11,262	685	35,508

Last year I told you that, barring a mega-catastrophe, our cost of float would probably drop from its 2000 level of 6%. I had in mind natural catastrophes when I said that, but instead we were hit by a man-made catastrophe on September 11th – an event that delivered the insurance industry its largest loss in history. Our float cost therefore came in at a staggering 12.8%. It was our worst year in float cost since 1984, and a result that to a significant degree, as I will explain in the next section, we brought upon ourselves.

If no mega-catastrophe occurs, I – once again – expect the cost of our float to be low in the coming year. We will indeed need a low cost, as will *all* insurers. Some years back, float costing, say, 4% was tolerable because government bonds yielded twice as much, and stocks prospectively offered still loftier returns. Today, fat returns are nowhere to be found (at least *we* can't find them) and short-term funds earn less than 2%. Under these conditions, each of our insurance operations, save one, must deliver an underwriting profit if it is to be judged a good business. The exception is our retroactive reinsurance operation (a business we explained in last year's annual report), which has desirable economics even though it currently hits us with an annual underwriting loss of about $425 million.

Principles of Insurance Underwriting

When property/casualty companies are judged by their cost of float, very few stack up as satisfactory businesses. And interestingly – unlike the situation prevailing in many other industries – neither size nor brand name determines an insurer's profitability. Indeed, many of the biggest and best-known companies regularly deliver mediocre results. What counts in this business is underwriting discipline. The winners are those that unfailingly stick to three key principles:

1. *They accept only those risks that they are able to properly evaluate (staying within their circle of competence) and that, after they have evaluated all relevant factors including remote loss scenarios, carry the expectancy of profit. These insurers ignore market-share considerations and are sanguine about losing business to competitors that are offering foolish prices or policy conditions.*

2. *They limit the business they accept in a manner that guarantees they will suffer no aggregation of losses from a single event or from related events that will threaten their solvency. They ceaselessly search for possible correlation among seemingly-unrelated risks.*

3. *They avoid business involving moral risk: No matter what the rate, trying to write good contracts with bad people doesn't work. While most policyholders and clients are honorable and ethical, doing business with the few exceptions is usually expensive, sometimes extraordinarily so.*

The events of September 11th made it clear that our implementation of rules 1 and 2 at General Re had been dangerously weak. In setting prices and also in evaluating aggregation risk, we had either overlooked or dismissed the possibility of large-scale terrorism losses. That was a relevant underwriting factor, and we ignored it.

In pricing property coverages, for example, we had looked to the past and taken into account only costs we might expect to incur from windstorm, fire, explosion and earthquake. But what will be the largest insured property loss in history (after adding related business-interruption claims) originated from none of these forces. In short, all of us in the industry made a fundamental underwriting mistake by focusing on experience, rather than exposure, thereby assuming a huge terrorism risk for which we received no premium.

Experience, of course, is a highly useful starting point in underwriting most coverages. For example, it's important for insurers writing California earthquake policies to know how many quakes in the state during the past century have registered 6.0 or greater on the Richter scale. This information will not tell you the exact probability of a big quake next year, or where in the state it might happen. But the statistic has utility, particularly if you are writing a huge statewide policy, as National Indemnity has done in recent years.

At certain times, however, using experience as a guide to pricing is not only useless, but actually dangerous. Late in a bull market, for example, large losses from directors and officers liability insurance ("D&O") are likely to be relatively rare. When stocks are rising, there are a scarcity of targets to sue, and both questionable accounting and management chicanery often go undetected. At that juncture, experience on high-limit D&O may look great.

But that's just when *exposure* is likely to be exploding, by way of ridiculous public offerings, earnings manipulation, chain-letter-like stock promotions and a potpourri of other unsavory activities. When stocks fall, these sins surface, hammering investors with losses that can run into the hundreds of billions. Juries deciding whether those losses should be borne by small investors or big insurance companies can be expected to hit insurers with verdicts that bear little relation to those delivered in bull-market days. Even one jumbo judgment, moreover, can cause settlement costs in later cases to mushroom. Consequently, the correct rate for D&O "excess" (meaning the insurer or reinsurer will pay losses above a high threshold) might well, if based on *exposure*, be five or more times the premium dictated by *experience*.

Insurers have always found it costly to ignore new exposures. Doing that in the case of terrorism, however, could literally bankrupt the industry. No one knows the probability of a nuclear detonation in a major metropolis this year (or even multiple detonations, given that a terrorist organization able to construct one bomb might not stop there). Nor can anyone, with assurance, assess the probability in this year, or another, of deadly biological or chemical agents being introduced simultaneously (say, through ventilation systems) into multiple office buildings and manufacturing plants. An attack like that would produce astronomical workers' compensation claims.

Here's what we *do* know:

(a) The probability of such mind-boggling disasters, though likely very low at present, is not zero.

(b) The probabilities are increasing, in an irregular and immeasurable manner, as knowledge and materials become available to those who wish us ill. Fear may recede with time, but the danger won't – the war against terrorism can never be won. The best the nation can achieve is a long succession of stalemates. There can be no checkmate against hydra-headed foes.

(c) Until now, insurers and reinsurers have blithely assumed the financial consequences from the incalculable risks I have described.

(d) Under a "close-to-worst-case" scenario, which could conceivably involve $1 trillion of damage, the insurance industry would be destroyed unless it manages in some manner to dramatically limit its assumption of terrorism risks. Only the U.S. Government has the resources to absorb such a blow. If it is unwilling to do so on a prospective basis, the general citizenry must bear its own risks and count on the Government to come to its rescue after a disaster occurs.

Why, you might ask, didn't I recognize the above facts *before* September 11th? The answer, sadly, is that I did – but I didn't convert thought into action. I violated the Noah rule: Predicting rain doesn't count; building arks does. I consequently let Berkshire operate with a dangerous level of risk – at General Re in particular. I'm sorry to say that much risk for which we haven't been compensated remains on our books, but it is running off by the day.

At Berkshire, it should be noted, we have for some years been willing to assume more risk than any other insurer has *knowingly* taken on. That's still the case. We are perfectly willing to lose $2 billion to $2½ billion in a single event (as we did on September 11th) if we have been paid properly for assuming the risk that caused the loss (which on that occasion we weren't).

Indeed, we have a major competitive advantage because of our tolerance for huge losses. Berkshire has massive liquid resources, substantial non-insurance earnings, a favorable tax position and a knowledgeable shareholder constituency willing to accept volatility in earnings. This unique combination enables us to assume risks that far exceed the appetite of even our largest competitors. Over time, insuring these jumbo risks should be profitable, though periodically they will bring on a terrible year.

The bottom-line today is that we will write some coverage for terrorist-related losses, including a few non-correlated policies with very large limits. But we will not knowingly expose Berkshire to losses beyond what we can comfortably handle. We will control our total exposure, no matter what the competition does.

Insurance Operations in 2001

Over the years, our insurance business has provided ever-growing, low-cost funds that have fueled much of Berkshire's growth. Charlie and I believe this will continue to be the case. But we stumbled in a big way in 2001, largely because of underwriting losses at General Re.

In the past I have assured you that General Re was underwriting with discipline – and I have been proven wrong. Though its managers' intentions were good, the company broke each of the three underwriting rules I set forth in the last section and has paid a huge price for doing so. One obvious cause for its failure is that it did not reserve correctly – more about this in the next section – and therefore severely miscalculated the cost of the product it was selling. Not knowing your costs will cause problems in any business. In long-tail reinsurance, where years of unawareness will promote and prolong severe underpricing, ignorance of true costs is dynamite.

Additionally, General Re was overly-competitive in going after, and retaining, business. While all concerned may intend to underwrite with care, it is nonetheless difficult for able, hard-driving professionals to curb their urge to prevail over competitors. If "winning," however, is equated with market share rather than profits, trouble awaits. "No" must be an important part of any underwriter's vocabulary.

At the risk of sounding Pollyannaish, I now assure you that underwriting discipline is being restored at General Re (and its Cologne Re subsidiary) with appropriate urgency. Joe Brandon was appointed General Re's CEO in September and, along with Tad Montross, its new president, is committed to producing underwriting profits. Last fall, Charlie and I read Jack Welch's terrific book, *Jack, Straight from the Gut* (get a copy!). In discussing it, we agreed that Joe has many of Jack's characteristics: He is smart, energetic, hands-on, and expects much of both himself and his organization.

When it was an independent company, General Re often shone, and now it also has the considerable strengths Berkshire brings to the table. With that added advantage and with underwriting discipline restored, General Re should be a huge asset for Berkshire. I predict that Joe and Tad will make it so.

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At the National Indemnity reinsurance operation, Ajit Jain continues to add enormous value to Berkshire. Working with only 18 associates, Ajit manages one of the world's largest reinsurance operations measured by assets, and *the* largest, based upon the size of individual risks assumed.

I have known the details of almost every policy that Ajit has written since he came with us in 1986, and never on even a single occasion have I seen him break any of our three underwriting rules. His extraordinary discipline, of course, does not eliminate losses; it does, however, prevent foolish losses. And that's the key: Just as is the case in investing, insurers produce outstanding long-term results primarily by avoiding dumb decisions, rather than by making brilliant ones.

Since September 11th, Ajit has been particularly busy. Among the policies we have written and retained entirely for our own account are (1) $578 million of property coverage for a South American refinery once a loss there exceeds $1 billion; (2) $1 billion of non-cancelable third-party liability coverage for losses arising from acts of terrorism at several large international airlines; (3) £500 million of property coverage on a large North Sea oil platform, covering losses from terrorism and sabotage, above £600 million that the insured retained or reinsured elsewhere; and (4) significant coverage on the Sears Tower, including losses caused by terrorism, above a $500 million threshold. We have written many other jumbo risks as well, such as protection for the World Cup Soccer Tournament and the 2002 Winter Olympics. In all cases, however, we have attempted to avoid writing groups of policies from which losses might seriously aggregate. We will not, for example, write coverages on a large number of office and apartment towers in a single metropolis without excluding losses from both a nuclear explosion and the fires that would follow it.

No one can match the speed with which Ajit can offer huge policies. After September 11th, his quickness to respond, always important, has become a major competitive advantage. So, too, has our unsurpassed financial strength. Some reinsurers – particularly those who, in turn, are accustomed to laying off much of their business on a second layer of reinsurers known as retrocessionaires – are in a weakened condition and would have difficulty surviving a second mega-cat. When a daisy chain of retrocessionaires exists, a single weak link can pose trouble for all. In assessing the soundness of their reinsurance protection, insurers must therefore apply a stress test to all participants in the chain, and must contemplate a catastrophe loss occurring during a very unfavorable economic environment. After all, you only find out who is swimming naked when the tide goes out. At Berkshire, we retain our risks and depend on no one. And whatever the world's problems, our checks will clear.

Ajit's business will ebb and flow – but his underwriting principles won't waver. It's impossible to overstate his value to Berkshire.

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GEICO, by far our largest primary insurer, made major progress in 2001, thanks to Tony Nicely, its CEO, and his associates. Quite simply, Tony is an owner's dream.

GEICO's premium volume grew 6.6% last year, its float grew $308 million, and it achieved an underwriting profit of $221 million. This means we were actually paid that amount last year to hold the $4.25 billion in float, which of course doesn't belong to Berkshire but can be used by us for investment.

The only disappointment at GEICO in 2001 – and it's an important one – was our inability to add policyholders. Our preferred customers (81% of our total) grew by 1.6% but our standard and non-standard policies fell by 10.1%. Overall, policies in force fell .8%.

New business has improved in recent months. Our closure rate from telephone inquiries has climbed, and our Internet business continues its steady growth. We, therefore, expect at least a modest gain in policy count during 2002. Tony and I are eager to commit much more to marketing than the $219 million we spent last year, but at the moment we cannot see how to do so effectively. In the meantime, our operating costs are low and far below those of our major competitors; our prices are attractive; and our float is cost-free and growing.

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Our other primary insurers delivered their usual fine results last year. These operations, run by Rod Eldred, John Kizer, Tom Nerney, Michael Stearns, Don Towle and Don Wurster had combined premium volume of $579 million, up 40% over 2000. Their float increased 14.5% to $685 million, and they recorded an underwriting profit of $30 million. In aggregate, these companies are one of the finest insurance operations in the country, and their 2002 prospects look excellent.

"Loss Development" and Insurance Accounting

Bad terminology is the enemy of good thinking. When companies or investment professionals use terms such as "EBITDA" and "pro forma," they want you to unthinkingly accept concepts that are dangerously flawed. (In golf, my score is frequently below par on a *pro forma* basis: I have firm plans to "restructure" my putting stroke and therefore only count the swings I take before reaching the green.)

In insurance reporting, "loss development" is a widely used term – and one that is seriously misleading. First, a definition: Loss reserves at an insurer are not funds tucked away for a rainy day, but rather a liability account. If properly calculated, the liability states the amount that an insurer will have to pay for *all* losses (including associated costs) that have occurred prior to the reporting date but have not yet been paid. When calculating the reserve, the insurer will have been notified of many of the losses it is destined to pay, but others will not yet have been reported to it. These losses are called IBNR, for incurred but not reported. Indeed, in some cases (involving, say, product liability or embezzlement) the insured itself will not yet be aware that a loss has occurred.

It's clearly difficult for an insurer to put a figure on the ultimate cost of all such reported and unreported events. But the ability to do so with reasonable accuracy is vital. Otherwise the insurer's managers won't know what its actual loss costs are and how these compare to the premiums being charged. GEICO got into huge trouble in the early 1970s because for several years it severely underreserved, and therefore believed its product (insurance protection) was costing considerably less than was truly the case. Consequently, the company sailed blissfully along, underpricing its product and selling more and more policies at ever-larger losses.

When it becomes evident that reserves at past reporting dates understated the liability that truly existed at the time, companies speak of "loss development." In the year discovered, these shortfalls penalize reported earnings because the "catch-up" costs from prior years must be added to current-year costs when results are calculated. This is what happened at General Re in 2001: a staggering $800 million of loss costs that actually occurred in earlier years, but that were not then recorded, were belatedly recognized last year and charged against current earnings. The mistake was an honest one, I can assure you of that. Nevertheless, for several years, this underreserving caused us to believe that our costs were much lower than they truly were, an error that contributed to woefully inadequate pricing. Additionally, the overstated profit figures led us to pay substantial incentive compensation that we should not have and to incur income taxes far earlier than was necessary.

We recommend scrapping the term "loss development" and its equally ugly twin, "reserve strengthening." (Can you imagine an insurer, upon finding its reserves excessive, describing the reduction that follows as "reserve weakening"?) "Loss development" suggests to investors that some natural, uncontrollable event has occurred in the current year, and "reserve strengthening" implies that adequate amounts have been further buttressed. The truth, however, is that management made an error in estimation that in turn produced an error in the earnings previously reported. The losses didn't "develop" – they were there all along. What developed was management's understanding of the losses (or, in the instances of chicanery, management's willingness to finally fess up).

A more forthright label for the phenomenon at issue would be "loss costs we failed to recognize when they occurred" (or maybe just "oops"). Underreserving, it should be noted, is a common – and serious – problem throughout the property/casualty insurance industry. At Berkshire we told you of our own problems with underestimation in 1984 and 1986. Generally, however, our reserving has been conservative.

Major underreserving is common in cases of companies struggling for survival. In effect, insurance accounting is a self-graded exam, in that the insurer gives some figures to its auditing firm and generally doesn't get an argument. (What the *auditor* gets, however, is a letter from management that is designed to take his firm off the hook if the numbers later look silly.) A company experiencing financial difficulties – of a kind that, if truly faced, could put it out of business – seldom proves to be a tough grader. Who, after all, wants to prepare his own execution papers?

Even when companies have the best of intentions, it's not easy to reserve properly. I've told the story in the past about the fellow traveling abroad whose sister called to tell him that their dad had died. The brother replied that it was impossible for him to get home for the funeral; he volunteered, however, to shoulder its cost. Upon returning, the brother received a bill from the mortuary for $4,500, which he promptly paid. A month later, and a month after that also, he paid $10 pursuant to an add-on invoice. When a third $10 invoice came, he called his sister for an explanation. "Oh," she replied, "I forgot to tell you. We buried dad in a rented suit."

There are a lot of "rented suits" buried in the past operations of insurance companies. Sometimes the problems they signify lie dormant for decades, as was the case with asbestos liability, before virulently manifesting themselves. Difficult as the job may be, it's management's responsibility to adequately account for *all* possibilities. Conservatism is essential. When a claims manager walks into the CEO's office and says "Guess what just happened," his boss, if a veteran, does not expect to hear it's good news. Surprises in the insurance world have been far from symmetrical in their effect on earnings.

Because of this one-sided experience, it is folly to suggest, as some are doing, that all property/casualty insurance reserves be *discounted*, an approach reflecting the fact that they will be paid in the future and that therefore their present value is less than the stated liability for them. Discounting might be acceptable *if* reserves could be precisely established. They can't, however, because a myriad of forces – judicial broadening of policy language and medical inflation, to name just two chronic problems – are constantly working to make reserves inadequate. Discounting would exacerbate this already-serious situation and, additionally, would provide a new tool for the companies that are inclined to fudge.

I'd say that the effects from telling a profit-challenged insurance CEO to lower reserves through discounting would be comparable to those that would ensue if a father told his 16-year-old son to have a normal sex life. Neither party needs that kind of push.

Sources of Reported Earnings

The table that follows shows the main sources of Berkshire's reported earnings. In this presentation, purchase-accounting adjustments (primarily relating to "goodwill") are not assigned to the specific businesses to which they apply, but are instead aggregated and shown separately. This procedure lets you view the earnings of our businesses as they would have been reported had we not purchased them. In recent years, our "expense" for goodwill amortization has been large. Going forward, generally accepted accounting principles ("GAAP") will no longer require amortization of goodwill. This change will increase our reported earnings (though not our true economic earnings) and simplify this section of the report.

	(in millions)			
	Pre-Tax Earnings		*Berkshire's Share of Net Earnings (after taxes and Minority interests)*	
	2001	*2000*	*2001*	*2000*
Operating Earnings:				
Insurance Group:				
Underwriting – Reinsurance	$(4,318)	$(1,416)	$(2,824)	$(911)
Underwriting – GEICO	221	(224)	144	(146)
Underwriting – Other Primary	30	25	18	16
Net Investment Income	2,824	2,773	1,968	1,946
Building Products[1]	461	34	287	21
Finance and Financial Products Business	519	530	336	343
Flight Services	186	213	105	126
MidAmerican Energy (76% owned)	600	197	230	109
Retail Operations	175	175	101	104
Scott Fetzer (excluding finance operation)	129	122	83	80
Shaw Industries[2]	292	--	156	--
Other Businesses	179	221	103	133
Purchase-Accounting Adjustments	(726)	(881)	(699)	(843)
Corporate Interest Expense	(92)	(92)	(60)	(61)
Shareholder-Designated Contributions	(17)	(17)	(11)	(11)
Other	25	39	16	30
Operating Earnings	488	1,699	(47)	936
Capital Gains from Investments	1,320	3,955	842	2,392
Total Earnings – All Entities	$1,808	$5,654	$ 795	$3,328

[1] *Includes Acme Brick from August 1, 2000; Benjamin Moore from December 18, 2000; Johns Manville from February 27, 2001; and MiTek from July 31, 2001.*

[2] *From date of acquisition, January 8, 2001.*

Here are some highlights (and lowlights) from 2001 relating to our non-insurance activities:

- Our shoe operations (included in "other businesses") lost $46.2 million pre-tax, with profits at H.H. Brown and Justin swamped by losses at Dexter.

  I've made three decisions relating to Dexter that have hurt you in a major way: (1) buying it in the first place; (2) paying for it with stock and (3) procrastinating when the need for changes in its operations was obvious. I would like to lay these mistakes on Charlie (or anyone else, for that matter) but they were mine. Dexter, prior to our purchase – and indeed for a few years after – prospered despite low-cost foreign competition that was brutal. I concluded that Dexter could continue to cope with that problem, and I was wrong.

  We have now placed the Dexter operation – which is still substantial in size – under the management of Frank Rooney and Jim Issler at H.H. Brown. These men have performed outstandingly for Berkshire, skillfully contending with the extraordinary changes that have bedeviled the footwear industry. During part of 2002, Dexter will be hurt by unprofitable sales commitments it made last year. After that, we believe our shoe business will be reasonably profitable.

- MidAmerican Energy, of which we own 76% on a fully-diluted basis, had a good year in 2001. Its reported earnings should also increase considerably in 2002 given that the company has been shouldering a large charge for the amortization of goodwill and that this "cost" will disappear under the new GAAP rules.

  Last year MidAmerican swapped some properties in England, adding Yorkshire Electric, with its 2.1 million customers. We are now serving 3.6 million customers in the U.K. and are its 2nd largest electric utility. We have an equally important operation in Iowa as well as major generating facilities in California and the Philippines.

  At MidAmerican – this may surprise you – we also own the second-largest residential real estate brokerage business in the country. We are market-share leaders in a number of large cities, primarily in the Midwest, and have recently acquired important firms in Atlanta and Southern California. Last year, operating under various names that are locally familiar, we handled about 106,000 transactions involving properties worth nearly $20 billion. Ron Peltier has built this business for us, and it's likely he will make more acquisitions in 2002 and the years to come.

- Considering the recessionary environment plaguing them, our retailing operations did well in 2001. In jewelry, same-store sales fell 7.6% and pre-tax margins were 8.9% versus 10.7% in 2000. Return on invested capital remains high.

  Same-store sales at our home-furnishings retailers were unchanged and so was the margin – 9.1% pre-tax – these operations earned. Here, too, return on invested capital is excellent.

  We continue to expand in both jewelry and home-furnishings. Of particular note, Nebraska Furniture Mart is constructing a mammoth 450,000 square foot store that will serve the greater Kansas City area beginning in the fall of 2003. Despite Bill Child's counter-successes, we will keep this store open on Sundays.

- The large acquisitions we initiated in late 2000 – Shaw, Johns Manville and Benjamin Moore – all came through their first year with us in great fashion. Charlie and I knew at the time of our purchases that we were in good hands with Bob Shaw, Jerry Henry and Yvan Dupuy, respectively – and we admire their work even more now. Together these businesses earned about $659 million pre-tax.

  Shortly after yearend we exchanged 4,740 Berkshire A shares (or their equivalent in B shares) for the 12.7% minority interest in Shaw, which means we now own 100% of the company. Shaw is our largest non-insurance operation and will play a big part in Berkshire's future.

- All of the income shown for Flight Services in 2001 – and a bit more – came from FlightSafety, our pilot-training subsidiary. Its earnings increased 2.5%, though return on invested capital fell slightly because of the $258 million investment we made last year in simulators and other fixed assets. My 84-year-old friend, Al Ueltschi, continues to run FlightSafety with the same enthusiasm and competitive spirit that he has exhibited since 1951, when he invested $10,000 to start the company. If I line Al up with a bunch of 60-year-olds at the annual meeting, you will not be able to pick him out.

After September 11th, training for commercial airlines fell, and today it remains depressed. However, training for business and general aviation, our main activity, is at near-normal levels and should continue to grow. In 2002, we expect to spend $162 million for 27 simulators, a sum far in excess of our annual depreciation charge of $95 million. Those who believe that EBITDA is in any way equivalent to true earnings are welcome to pick up the tab.

Our NetJets® fractional ownership program sold a record number of planes last year and also showed a gain of 21.9% in service income from management fees and hourly charges. Nevertheless, it operated at a small loss, versus a small profit in 2000. We made a little money in the U.S., but these earnings were more than offset by European losses. Measured by the value of our customers' planes, NetJets accounts for about half of the industry. We believe the other participants, in aggregate, lost significant money.

Maintaining a premier level of safety, security and service was always expensive, and the cost of sticking to those standards was exacerbated by September 11th. No matter how much the cost, we will continue to be the industry leader in all three respects. An uncompromising insistence on delivering only the best to his customers is embedded in the DNA of Rich Santulli, CEO of the company and the inventor of fractional ownership. I'm delighted with his fanaticism on these matters for both the company's sake and my family's: I believe the Buffetts fly more fractional-ownership hours – we log in excess of 800 annually – than does any other family. In case you're wondering, we use exactly the same planes and crews that serve NetJet's other customers.

NetJets experienced a spurt in new orders shortly after September 11th, but its sales pace has since returned to normal. Per-customer usage declined somewhat during the year, probably because of the recession.

Both we and our customers derive significant operational benefits from our being the runaway leader in the fractional ownership business. We have more than 300 planes constantly on the go in the U.S. and can therefore be wherever a customer needs us on very short notice. The ubiquity of our fleet also reduces our "positioning" costs below those incurred by operators with smaller fleets.

These advantages of scale, and others we have, give NetJets a significant economic edge over competition. Under the competitive conditions likely to prevail for a few years, however, our advantage will at best produce modest profits.

- Our finance and financial products line of business now includes XTRA, General Re Securities (which is in a run-off mode that will continue for an extended period) and a few other relatively small operations. The bulk of the assets and liabilities in this segment, however, arise from a few fixed-income strategies, involving highly-liquid AAA securities, that I manage. This activity, which only makes sense when certain market relationships exist, has produced good returns in the past and has reasonable prospects for continuing to do so over the next year or two.

Investments

Below we present our common stock investments. Those that had a market value of more than $500 million at the end of 2001 are itemized.

		12/31/01	
Shares	*Company*	*Cost*	*Market*
		(dollars in millions)	
151,610,700	American Express Company	$ 1,470	$ 5,410
200,000,000	The Coca-Cola Company	1,299	9,430
96,000,000	The Gillette Company	600	3,206
15,999,200	H&R Block, Inc.	255	715
24,000,000	Moody's Corporation	499	957
1,727,765	The Washington Post Company	11	916
53,265,080	Wells Fargo & Company	306	2,315
	Others	4,103	5,726
	Total Common Stocks	$8,543	$28,675

We made few changes in our portfolio during 2001. As a group, our larger holdings have performed poorly in the last few years, some because of disappointing operating results. Charlie and I still like the basic businesses of all the companies we own. But we do not believe Berkshire's equity holdings as a group are undervalued.

Our restrained enthusiasm for these securities is matched by decidedly lukewarm feelings about the prospects for stocks in general over the next decade or so. I expressed my views about equity returns in a speech I gave at an Allen and Company meeting in July (which was a follow-up to a similar presentation I had made two years earlier) and an edited version of my comments appeared in a December 10th *Fortune* article. I'm enclosing a copy of that article. You can also view the *Fortune* version of my 1999 talk at our website www.berkshirehathaway.com.

Charlie and I believe that American business will do fine over time but think that today's equity prices presage only moderate returns for investors. The market outperformed business for a very long period, and that phenomenon had to end. A market that no more than parallels business progress, however, is likely to leave many investors disappointed, particularly those relatively new to the game.

Here's one for those who enjoy an odd coincidence: The Great Bubble ended on March 10, 2000 (though we didn't realize that fact until some months later). On that day, the NASDAQ (recently 1,731) hit its all-time high of 5,132. That same day, Berkshire shares traded at $40,800, their lowest price since mid-1997.

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During 2001, we were somewhat more active than usual in "junk" bonds. These are not, we should emphasize, suitable investments for the general public, because too often these securities live up to their name. We have *never* purchased a newly-issued junk bond, which is the only kind most investors are urged to buy. When losses occur in this field, furthermore, they are often disastrous: Many issues end up at a small fraction of their original offering price and some become entirely worthless.

Despite these dangers, we periodically find a few – a *very* few – junk securities that are interesting to us. And, so far, our 50-year experience in distressed debt has proven rewarding. In our 1984 annual report, we described our purchases of Washington Public Power System bonds when that issuer fell into disrepute. We've also, over the years, stepped into other apparent calamities such as Chrysler Financial, Texaco and RJR Nabisco – all of which returned to grace. Still, if we stay active in junk bonds, you can expect us to have losses from time to time.

Occasionally, a purchase of distressed bonds leads us into something bigger. Early in the Fruit of the Loom bankruptcy, we purchased the company's public and bank debt at about 50% of face value. This was an unusual bankruptcy in that interest payments on senior debt were continued without interruption, which meant we earned about a 15% current return. Our holdings grew to 10% of Fruit's senior debt, which will probably end up returning us about 70% of face value. Through this investment, we indirectly reduced our purchase price for the whole company by a small amount.

In late 2000, we began purchasing the obligations of FINOVA Group, a troubled finance company, and that, too, led to our making a major transaction. FINOVA then had about $11 billion of debt outstanding, of which we purchased 13% at about two-thirds of face value. We expected the company to go into bankruptcy, but believed that liquidation of its assets would produce a payoff for creditors that would be well above our cost. As default loomed in early 2001, we joined forces with Leucadia National Corporation to present the company with a prepackaged plan for bankruptcy.

The plan as subsequently modified (and I'm simplifying here) provided that creditors would be paid 70% of face value (along with full interest) and that they would receive a newly-issued 7½% note for the 30% of their claims not satisfied by cash. To fund FINOVA's 70% distribution, Leucadia and Berkshire formed a jointly-owned entity – mellifluently christened Berkadia – that borrowed $5.6 billion through FleetBoston and, in turn, re-lent this sum to FINOVA, concurrently obtaining a priority claim on its assets. Berkshire guaranteed 90% of the Berkadia borrowing and also has a secondary guarantee on the 10% for which Leucadia has primary responsibility. (Did I mention that I am simplifying?).

There is a spread of about two percentage points between what Berkadia pays on its borrowing and what it receives from FINOVA, with this spread flowing 90% to Berkshire and 10% to Leucadia. As I write this, each loan has been paid down to $3.9 billion.

As part of the bankruptcy plan, which was approved on August 10, 2001, Berkshire also agreed to offer 70% of face value for up to $500 million principal amount of the $3.25 billion of new 7½% bonds that were issued by FINOVA. (Of these, we had already received $426.8 million in principal amount because of our 13% ownership of the original debt.) Our offer, which was to run until September 26, 2001, could be withdrawn under a variety of conditions, one of which became operative if the New York Stock Exchange closed during the offering period. When that indeed occurred in the week of September 11th, we promptly terminated the offer.

Many of FINOVA's loans involve aircraft assets whose values were significantly diminished by the events of September 11th. Other receivables held by the company also were imperiled by the economic consequences of the attack that day. FINOVA's prospects, therefore, are not as good as when we made our proposal to the bankruptcy court. Nevertheless we feel that overall the transaction will prove satisfactory for Berkshire. Leucadia has day-to-day operating responsibility for FINOVA, and we have long been impressed with the business acumen and managerial talent of its key executives.

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It's déjà vu time again: In early 1965, when the investment partnership I ran took control of Berkshire, that company had its main banking relationships with First National Bank of Boston and a large New York City bank. Previously, I had done no business with either.

Fast forward to 1969, when I wanted Berkshire to buy the Illinois National Bank and Trust of Rockford. We needed $10 million, and I contacted both banks. There was no response from New York. However, two representatives of the Boston bank immediately came to Omaha. They told me they would supply the money for our purchase and that we would work out the details later.

For the next three decades, we borrowed almost nothing from banks. (Debt is a four-letter word around Berkshire.) Then, in February, when we were structuring the FINOVA transaction, I again called Boston, where First National had morphed into FleetBoston. Chad Gifford, the company's president, responded just as Bill Brown and Ira Stepanian had back in 1969 – "you've got the money and we'll work out the details later."

And that's just what happened. FleetBoston syndicated a loan for $6 billion (as it turned out, we didn't need $400 million of it), and it was quickly oversubscribed by 17 banks throughout the world. Sooooo . . . if you ever need $6 billion, just give Chad a call – assuming, that is, your credit is AAA.

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One more point about our investments: The media often report that "Buffett is buying" this or that security, having picked up the "fact" from reports that Berkshire files. These accounts are sometimes correct, but at other times the transactions Berkshire reports are actually being made by Lou Simpson, who runs a $2 billion portfolio for GEICO that is quite independent of me. Normally, Lou does not tell me what he is buying or selling, and I learn of his activities only when I look at a GEICO portfolio summary that I receive a few days after the end of each month. Lou's thinking, of course, is quite similar to mine, but we usually end up in different securities. That's largely because he's working with less money and can therefore invest in smaller companies than I. Oh, yes, there's also another minor difference between us: In recent years, Lou's performance has been far better than mine.

Charitable Contributions

Berkshire follows a highly unusual policy in respect to charitable contributions – but it's one that Charlie and I believe is both rational and fair to owners.

First, we let our operating subsidiaries make their own charitable decisions, requesting only that the owners/managers who once ran these as independent companies make all donations to their *personal* charities from their own funds, instead of using company money. When our managers are using company funds, we trust them to make gifts in a manner that delivers commensurate tangible or intangible benefits to the operations they manage. Last year contributions from Berkshire subsidiaries totaled $19.2 million.

At the parent company level, we make no contributions except those designated by shareholders. We do not match contributions made by directors or employees, nor do we give to the favorite charities of the Buffetts or the Mungers. However, prior to our purchasing them, a few of our subsidiaries had employee-match programs and we feel fine about their continuing them: It's not our style to tamper with successful business cultures.

To implement our *owners'* charitable desires, each year we notify registered holders of A shares (A's represent 86.6% of our equity capital) of a per-share amount that they can instruct us to contribute to as many as three charities. Shareholders name the charity; Berkshire writes the check. Any organization that qualifies under the Internal Revenue Code can be designated by shareholders. Last year Berkshire made contributions of $16.7 million at the direction of 5,700 shareholders, who named 3,550 charities as recipients. Since we started this program, our shareholders' gifts have totaled $181 million.

Most public corporations eschew gifts to religious institutions. These, however, are favorite charities of our shareholders, who last year named 437 churches and synagogues to receive gifts. Additionally, 790 schools were recipients. A few of our larger shareholders, including Charlie and me, designate their personal foundations to get gifts, so that those entities can, in turn, disburse their funds widely.

I get a few letters every week criticizing Berkshire for contributing to Planned Parenthood. These letters are usually prompted by an organization that wishes to see boycotts of Berkshire products. The letters are invariably polite and sincere, but their writers are unaware of a key point: It's not Berkshire, but rather its owners who are making charitable decisions – and these owners are about as diverse in their opinions as you can imagine. For example, they are probably on both sides of the abortion issue in roughly the same proportion as the American population. We'll follow their instructions, whether they designate Planned Parenthood or Metro Right to Life, just as long as the charity possesses 501(c)(3) status. It's as if we paid a dividend, which the shareholder then donated. Our form of disbursement, however, is more tax-efficient.

In neither the purchase of goods nor the hiring of personnel, do we ever consider the religious views, the gender, the race or the sexual orientation of the persons we are dealing with. It would not only be wrong to do so, it would be idiotic. We need all of the talent we can find, and we have learned that able and trustworthy managers, employees and suppliers come from a very wide spectrum of humanity.

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To participate in our future charitable contribution programs, you must own Class A shares that are registered in the name of the actual owner, not the nominee name of a broker, bank or depository. Shares not so registered on August 31, 2002 will be ineligible for the 2002 program. When you get the contributions form from us, return it promptly. Designations received after the due date will not be honored.

The Annual Meeting

This year's annual meeting will be on Saturday, May 4, and we will again be at the Civic Auditorium. The doors will open at 7 a.m., the movie will begin at 8:30, and the meeting itself will commence at 9:30. There will be a short break at noon for food. (Sandwiches can be bought at the Civic's concession stands.) Except for that interlude, Charlie and I will answer questions until 3:30. Give us your best shot.

For at least the next year, the Civic, located downtown, is the only site available to us. We must therefore hold the meeting on either Saturday or Sunday to avoid the traffic and parking nightmare sure to occur on a weekday. Shortly, however, Omaha will have a new Convention Center with plenty of parking facilities. Assuming that we then head for the Center, I will poll shareholders to see whether you wish to return to the Monday meeting that was standard until 2000. We will decide that vote based on a count of shareholders, not shares. (This is *not* a system, however, we will ever institute to decide who should be CEO.)

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. They do a terrific job for us each year, and I thank them for it.

In our usual fashion, we will run buses from the larger hotels to the meeting. Afterwards, the buses will make trips back to the hotels and to Nebraska Furniture Mart, Borsheim's and the airport. Even so, you are likely to find a car useful.

We have added so many new companies to Berkshire this year that I'm not going to detail all of the products that we will be *selling* at the meeting. But come prepared to carry home everything from bricks to candy. And underwear, of course. Assuming our Fruit of the Loom purchase has closed by May 4, we will be selling Fruit's latest styles, which will make you your neighborhood's fashion leader. Buy a lifetime supply.

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a special shareholder discount (usually 8%). This special offer is permitted by 41 of the 49 jurisdictions in which we operate. Bring the details of your existing insurance and check out whether we can save you money.

At the Omaha airport on Saturday, we will have the usual array of aircraft from NetJets® available for your inspection. Just ask a representative at the Civic about viewing any of these planes. If you buy what we consider an appropriate number of items during the weekend, you may well need your own plane to take them home. And, if you buy a fraction of a plane, we might even throw in a three-pack of briefs or boxers.

At Nebraska Furniture Mart, located on a 75-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" pricing, which means we will be offering our shareholders a discount that is customarily given only to employees. We initiated this special pricing at NFM five years ago, and sales during the "Weekend" grew from $5.3 million in 1997 to $11.5 million in 2001.

To get the discount, you must make your purchases on Thursday, May 2 through Monday, May 6 and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but that, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. on weekdays and 10 a.m. to 6 p.m. on Saturdays and Sundays.

Borsheim's — the largest jewelry store in the country except for Tiffany's Manhattan store — will have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 10 p.m. on Friday, May 3. The second, the main gala, will be from 9 a.m. to 5 p.m. on Sunday, May 5. Shareholder prices will be available Thursday through Monday, so if you wish to avoid the large crowds that will assemble on Friday evening and Sunday, come at other times and identify yourself as a shareholder. On Saturday, we will be open until 6 p.m. Borsheim's operates on a gross margin that is fully twenty percentage points below that of its major rivals, so the more you buy, the more you save (or at least that's what my wife and daughter tell me). Come by and let us perform a walletectomy on you.

In the mall outside of Borsheim's, we will have some of the world's top bridge experts available to play with our shareholders on Sunday afternoon. We expect Bob and Petra Hamman along with Sharon Osberg to host tables. Patrick Wolff, twice U.S. chess champion, will also be in the mall, taking on all comers — blindfolded!

Last year, Patrick played as many as six games simultaneously — with his blindfold securely in place — and this year will try for seven. Finally, Bill Robertie, one of only two players who have twice won the backgammon world championship, will be on hand to test your skill at that game. Come to the mall on Sunday for the Mensa Olympics.

Gorat's — my favorite steakhouse — will again be open exclusively for Berkshire shareholders on Sunday, May 5, and will be serving from 4 p.m. until 10 p.m. Please remember that to come to Gorat's on Sunday, you must have a reservation. To make one, call 402-551-3733 on April 1 (*but not before*). If Sunday is sold out, try Gorat's on one of the other evenings you will be in town. Show your sophistication by ordering a rare T-bone with a double order of hash browns.

The usual baseball game will be held at Rosenblatt Stadium at 7 p.m. on Saturday night. This year the Omaha Royals will play the Oklahoma RedHawks. Last year, in an attempt to emulate the career switch of Babe Ruth, I gave up pitching and tried batting. Bob Gibson, an Omaha native, was on the mound and I was terrified, fearing Bob's famous brush-back pitch. Instead, he delivered a fast ball in the strike zone, and with a Mark McGwire-like swing, I managed to connect for a hard grounder, which inexplicably died in the infield. I didn't run it out: At my age, I get winded playing a hand of bridge.

I'm not sure what will take place at the ballpark this year, but come out and be surprised. Our proxy statement contains instructions for obtaining tickets to the game. Those people ordering tickets to the annual meeting will receive a booklet containing all manner of information that should help you enjoy your visit in Omaha. There will be plenty of action in town. So come for Woodstock Weekend and join our Celebration of Capitalism at the Civic.

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Finally, I would like to thank the wonderful and incredibly productive crew at World Headquarters (all 5,246.5 square feet of it) who make my job so easy. Berkshire added about 40,000 employees last year, bringing our workforce to 110,000. At headquarters we added one employee and now have 14.8. (I've tried in vain to get JoEllen Rieck to change her workweek from four days to five; I think she likes the national recognition she gains by being .8.)

The smooth handling of the array of duties that come with our current size and scope – as well as some additional activities almost unique to Berkshire, such as our shareholder gala and designated-gifts program – takes a very special group of people. And that we most definitely have.

Warren E. Buffett
February 28, 2002 Chairman of the Board

Note: The following table appears in the printed Annual Report on the facing page of the Chairman's Letter and is referred to in that letter.

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
Average Annual Gain – 1965-2002	22.2	10.0	12.2
Overall Gain – 1964-2002	214,433	3,663	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our gain in net worth during 2002 was $6.1 billion, which increased the per-share book value of both our Class A and Class B stock by 10.0%. Over the last 38 years (that is, since present management took over) per-share book value has grown from $19 to $41,727, a rate of 22.2% compounded annually.*

In all respects 2002 was a banner year. I'll provide details later, but here's a summary:

- Our various non-insurance operations performed exceptionally well, despite a sluggish economy. A decade ago Berkshire's annual pre-tax earnings from our non-insurance businesses was $272 million. Now, from our ever-expanding collection of manufacturing, retailing, service and finance businesses, we earn that sum *monthly*.

- Our insurance group increased its float to $41.2 billion, a hefty gain of $5.7 billion. Better yet, the use of these funds in 2002 cost us only 1%. Getting back to low-cost float feels good, particularly after our poor results during the three previous years. Berkshire's reinsurance division and GEICO shot the lights out in 2002, and underwriting discipline was restored at General Re.

- Berkshire acquired some important new businesses – with economic characteristics ranging from good to great, run by managers ranging from great to great. Those attributes are two legs of our "entrance" strategy, the third being a sensible purchase price. Unlike LBO operators and private equity firms, we have no "exit" strategy – we buy to keep. That's one reason why Berkshire is usually the first – and sometimes the only – choice for sellers and their managers.

- Our marketable securities outperformed most indices. For Lou Simpson, who manages equities at GEICO, this was old stuff. But, for me, it was a welcome change from the last few years, during which my investment record was dismal.

The confluence of these favorable factors in 2002 caused our book-value gain to outstrip the performance of the S&P 500 by 32.1 percentage points. This result is aberrational: Charlie Munger, Berkshire's vice chairman and my partner, and I hope to achieve – *at most* – an average annual advantage of a few points. In the future, there will be years in which the S&P soundly trounces us. That will in fact almost certainly happen during a strong bull market, because the portion of our assets committed to common stocks has significantly declined. This change, of course, helps our relative performance in down markets such as we had in 2002.

I have another caveat to mention about last year's results. If you've been a reader of financial reports in recent years, you've seen a flood of "pro-forma" earnings statements – tabulations in which managers invariably show "earnings" far in excess of those allowed by their auditors. In these presentations, the CEO tells his owners "don't count this, don't count that – just count what makes earnings fat." Often, a forget-all-this-bad-stuff message is delivered year after year without management so much as blushing.

*All figures used in this report apply to Berkshire's A shares, the successor to the only stock that the company had outstanding before 1996. The B shares have an economic interest equal to 1/30th that of the A.

We've yet to see a pro-forma presentation disclosing that audited earnings were somewhat high. So let's make a little history: Last year, on a pro-forma basis, Berkshire had *lower* earnings than those we actually reported.

That is true because two favorable factors aided our reported figures. First, in 2002 there was no megacatastrophe, which means that Berkshire (and other insurers as well) earned more from insurance than if losses had been normal. In years when the reverse is true – because of a blockbuster hurricane, earthquake or man-made disaster – many insurers like to report that they would have earned X "except for" the unusual event. The implication is that since such megacats are infrequent, they shouldn't be counted when "true" earnings are calculated. That is deceptive nonsense. "Except for" losses will forever be part of the insurance business, and they will forever be paid with shareholders' money.

Nonetheless, for the purposes of this exercise, we'll take a page from the industry's book. For last year, when we didn't have any truly major disasters, a downward adjustment is appropriate if you wish to "normalize" our underwriting result.

Secondly, the bond market in 2002 favored certain strategies we employed in our finance and financial products business. Gains from those strategies will certainly diminish within a year or two – and may well disappear.

Soooo . . . "except for" a couple of favorable breaks, our pre-tax earnings last year would have been about $500 million less than we actually reported. We're happy, nevertheless, to bank the excess. As Jack Benny once said upon receiving an award: "I don't deserve this honor – but, then, I have arthritis, and I don't deserve that either."

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We continue to be blessed with an extraordinary group of managers, many of whom haven't the slightest financial need to work. They stick around, though: In 38 years, we've never had a single CEO of a subsidiary elect to leave Berkshire to work elsewhere. Counting Charlie, we now have six managers over 75, and I hope that in four years that number increases by at least two (Bob Shaw and I are both 72). Our rationale: "It's hard to teach a new dog old tricks."

Berkshire's operating CEOs are masters of their crafts and run their businesses as if they were their own. My job is to stay out of their way and allocate whatever excess capital their businesses generate. It's easy work.

My managerial model is Eddie Bennett, who was a batboy. In 1919, at age 19, Eddie began his work with the Chicago White Sox, who that year went to the World Series. The next year, Eddie switched to the Brooklyn Dodgers, and they, too, won their league title. Our hero, however, smelled trouble. Changing boroughs, he joined the Yankees in 1921, and they promptly won their first pennant in history. Now Eddie settled in, shrewdly seeing what was coming. In the next seven years, the Yankees won five American League titles.

What does this have to do with management? It's simple – to be a winner, work with winners. In 1927, for example, Eddie received $700 for the 1/8th World Series share voted him by the legendary Yankee team of Ruth and Gehrig. This sum, which Eddie earned by working only four days (because New York swept the Series) was roughly equal to the full-year pay then earned by batboys who worked with ordinary associates.

Eddie understood that how he lugged bats was unimportant; what counted instead was hooking up with the cream of those on the playing field. I've learned from Eddie. At Berkshire, I regularly hand bats to many of the heaviest hitters in American business.

Acquisitions

We added some sluggers to our lineup last year. Two acquisitions pending at yearend 2001 were completed: Albecca (which operates under the name Larson-Juhl), the U.S. leader in custom-made picture frames; and Fruit of the Loom, the producer of about 33.3% of the men's and boy's underwear sold in the U.S. and of other apparel as well.

Both companies came with outstanding CEOs: Steve McKenzie at Albecca and John Holland at Fruit. John, who had retired from Fruit in 1996, rejoined it three years ago and rescued the company from the disastrous path it had gone down after he'd left. He's now 70, and I am trying to convince him to make his next retirement coincident with mine (presently scheduled for five years after my death – a date subject, however, to extension).

We initiated and completed two other acquisitions last year that were somewhat below our normal size threshold. In aggregate, however, these businesses earn more than $60 million pre-tax annually. Both operate in industries characterized by tough economics, but both also have important competitive strengths that enable them to earn decent returns on capital.

The newcomers are:

(a) CTB, a worldwide leader in equipment for the poultry, hog, egg production and grain industries; and

(b) Garan, a manufacturer of children's apparel, whose largest and best-known line is Garanimals®.

These two companies came with the managers responsible for their impressive records: Vic Mancinelli at CTB and Seymour Lichtenstein at Garan.

The largest acquisition we initiated in 2002 was The Pampered Chef, a company with a fascinating history dating back to 1980. Doris Christopher was then a 34-year-old suburban Chicago home economics teacher with a husband, two little girls, and absolutely no business background. Wanting, however, to supplement her family's modest income, she turned to thinking about what she knew best – food preparation. Why not, she wondered, make a business out of marketing kitchenware, focusing on the items she herself had found most useful?

To get started, Doris borrowed $3,000 against her life insurance policy – all the money *ever* injected into the company – and went to the Merchandise Mart on a buying expedition. There, she picked up a dozen each of this and that, and then went home to set up operations in her basement.

Her plan was to conduct in-home presentations to small groups of women, gathered at the homes of their friends. While driving to her first presentation, though, Doris almost talked herself into returning home, convinced she was doomed to fail.

But the women she faced that evening loved her and her products, purchased $175 of goods, and TPC was underway. Working with her husband, Jay, Doris did $50,000 of business in the first year. Today – only 22 years later – TPC does more than $700 million of business annually, working through 67,000 kitchen consultants.

I've been to a TPC party, and it's easy to see why the business is a success. The company's products, in large part proprietary, are well-styled and highly useful, and the consultants are knowledgeable and enthusiastic. Everyone has a good time. Hurry to pamperedchef.com on the Internet to find where to attend a party near you.

Two years ago, Doris brought in Sheila O'Connell Cooper, now CEO, to share the management load, and in August they met with me in Omaha. It took me about ten seconds to decide that these were two managers with whom I wished to partner, and we promptly made a deal. Berkshire shareholders couldn't be luckier than to be associated with Doris and Sheila.

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Berkshire also made some important acquisitions last year through MidAmerican Energy Holdings (MEHC), a company in which our equity interest is 80.2%. Because the Public Utility Holding Company Act (PUHCA) limits us to 9.9% voting control, however, we are unable to fully consolidate MEHC's financial statements.

Despite the voting-control limitation – and the somewhat strange capital structure at MEHC it has engendered – the company is a key part of Berkshire. Already it has $18 billion of assets and delivers our largest stream of non-insurance earnings. It could well grow to be huge.

Last year MEHC acquired two important gas pipelines. The first, Kern River, extends from Southwest Wyoming to Southern California. This line moves about 900 million cubic feet of gas a day and is undergoing a $1.2 billion expansion that will double throughput by this fall. At that point, the line will carry enough gas to generate electricity for ten million homes.

The second acquisition, Northern Natural Gas, is a 16,600 mile line extending from the Southwest to a wide range of Midwestern locations. This purchase completes a corporate odyssey of particular interest to Omahans.

From its beginnings in the 1930s, Northern Natural was one of Omaha's premier businesses, run by CEOs who regularly distinguished themselves as community leaders. Then, in July, 1985, the company – which in 1980 had been renamed InterNorth – merged with Houston Natural Gas, a business less than half its size. The companies announced that the enlarged operation would be headquartered in Omaha, with InterNorth's CEO continuing in that job.

Within a year, those promises were broken. By then, the former CEO of Houston Natural had taken over the top job at InterNorth, the company had been renamed, and the headquarters had been moved to Houston. These switches were orchestrated by the new CEO – Ken Lay – and the name he chose was Enron.

Fast forward 15 years to late 2001. Enron ran into the troubles we've heard so much about and borrowed money from Dynegy, putting up the Northern Natural pipeline operation as collateral. The two companies quickly had a falling out, and the pipeline's ownership moved to Dynegy. That company, in turn, soon encountered severe financial problems of its own.

MEHC received a call on Friday, July 26, from Dynegy, which was looking for a quick and certain cash sale of the pipeline. Dynegy phoned the right party: On July 29, we signed a contract, and shortly thereafter Northern Natural returned home.

When 2001 began, Charlie and I had no idea that Berkshire would be moving into the pipeline business. But upon completion of the Kern River expansion, MEHC will transport about 8% of all gas used in the U.S. We continue to look for large energy-related assets, though in the electric utility field PUHCA constrains what we can do.

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A few years ago, and somewhat by accident, MEHC found itself in the residential real estate brokerage business. It is no accident, however, that we have dramatically expanded the operation. Moreover, we are likely to keep on expanding in the future.

We call this business HomeServices of America. In the various communities it serves, though, it operates under the names of the businesses it has acquired, such as CBS in Omaha, Edina Realty in Minneapolis and Iowa Realty in Des Moines. In most metropolitan areas in which we operate, we are the clear market leader.

HomeServices is now the second largest residential brokerage business in the country. On one side or the other (or both), we participated in $37 billion of transactions last year, up 100% from 2001.

Most of our growth came from three acquisitions we made during 2002, the largest of which was Prudential California Realty. Last year, this company, the leading realtor in a territory consisting of Los Angeles, Orange and San Diego Counties, participated in $16 billion of closings.

In a very short period, Ron Peltier, the company's CEO, has increased HomeServices' revenues – and profits – dramatically. Though this business will always be cyclical, it's one we like and in which we continue to have an appetite for sensible acquisitions.

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Dave Sokol, MEHC's CEO, and Greg Abel, his key associate, are huge assets for Berkshire. They are dealmakers, and they are managers. Berkshire stands ready to inject massive amounts of money into MEHC – and it will be fun to watch how far Dave and Greg can take the business.

The Economics of Property/Casualty Insurance

Our core business — though we have others of great importance — is insurance. To understand Berkshire, therefore, it is necessary that you understand how to evaluate an insurance company. The key determinants are: (1) the amount of float that the business generates; (2) its cost; and (3) most critical of all, the long-term outlook for both of these factors.

To begin with, float is money we hold but don't own. In an insurance operation, float arises because premiums are received before losses are paid, an interval that sometimes extends over many years. During that time, the insurer invests the money. This pleasant activity typically carries with it a downside: The premiums that an insurer takes in usually do not cover the losses and expenses it eventually must pay. That leaves it running an "underwriting loss," which is the cost of float. An insurance business has value if its cost of float over time is less than the cost the company would otherwise incur to obtain funds. But the business is a lemon if its cost of float is higher than market rates for money. Moreover, the downward trend of interest rates in recent years has transformed underwriting losses that formerly were tolerable into burdens that move insurance businesses deeply into the lemon category.

Historically, Berkshire has obtained its float at a very low cost. Indeed, our cost has been less than zero in many years; that is, we've actually been paid for holding other people's money. In 2001, however, our cost was terrible, coming in at 12.8%, about half of which was attributable to World Trade Center losses. Back in 1983-84, we had years that were even worse. There's nothing automatic about cheap float.

The table that follows shows (at intervals) the float generated by the various segments of Berkshire's insurance operations since we entered the business 36 years ago upon acquiring National Indemnity Company (whose traditional lines are included in the segment "Other Primary"). For the table we have calculated our float — which we generate in large amounts relative to our premium volume — by adding net loss reserves, loss adjustment reserves, funds held under reinsurance assumed and unearned premium reserves, and then subtracting insurance-related receivables, prepaid acquisition costs, prepaid taxes and deferred charges applicable to assumed reinsurance. (Got that?)

Yearend Float (in $ millions)

Year	GEICO	General Re	Other Reinsurance	Other Primary	Total
1967				20	20
1977			40	131	171
1987			701	807	1,508
1997	2,917		4,014	455	7,386
1998	3,125	14,909	4,305	415	22,754
1999	3,444	15,166	6,285	403	25,298
2000	3,943	15,525	7,805	598	27,871
2001	4,251	19,310	11,262	685	35,508
2002	4,678	22,207	13,396	943	41,224

Last year our cost of float was 1%. As I mentioned earlier, you should temper your enthusiasm about this favorable result given that no megacatastrophe occurred in 2002. We're certain to get one of these disasters periodically, and when we do our float-cost will spike.

Our 2002 results were hurt by 1) a painful charge at General Re for losses that should have been recorded as costs in earlier years, and 2) a "desirable" charge we incur annually for retroactive insurance (see the next section for more about these items). These costs totaled $1.75 billion, or about 4.6% of float. Fortunately, our overall underwriting experience on 2002 business was excellent, which allowed us, even after the charges noted, to approach a no-cost result.

Absent a megacatastrophe, I expect our cost of float in 2003 to again be very low – perhaps even less than zero. In the rundown of our insurance operations that follows, you will see why I'm optimistic that, over time, our underwriting results will both surpass those achieved by the industry and deliver us investable funds at minimal cost.

Insurance Operations

If our insurance operations are to generate low-cost float over time, they must: (a) underwrite with unwavering discipline; (b) reserve conservatively; and (c) avoid an aggregation of exposures that would allow a supposedly "impossible" incident to threaten their solvency. All of our major insurance businesses, with one exception, have regularly met those tests.

The exception is General Re, and there was much to do at that company last year to get it up to snuff. I'm delighted to report that under Joe Brandon's leadership, and with yeoman assistance by Tad Montross, enormous progress has been made on each of the fronts described.

When I agreed in 1998 to merge Berkshire with Gen Re, I thought that company stuck to the three rules I've enumerated. I had studied the operation for decades and had observed underwriting discipline that was consistent and reserving that was conservative. At merger time, I detected no slippage in Gen Re's standards.

I was dead wrong. Gen Re's culture and practices had substantially changed and unbeknownst to management – and to me – the company was grossly mispricing its current business. In addition, Gen Re had accumulated an aggregation of risks that would have been fatal had, say, terrorists detonated several large-scale nuclear bombs in an attack on the U.S. A disaster of that scope was highly improbable, of course, but it is up to insurers to limit their risks in a manner that leaves their finances rock-solid if the "impossible" happens. Indeed, had Gen Re remained independent, the World Trade Center attack alone would have threatened the company's existence.

When the WTC disaster occurred, it exposed weaknesses in Gen Re's operations that I should have detected earlier. But I was lucky: Joe and Tad were on hand, freshly endowed with increased authority and eager to rapidly correct the errors of the past. They knew what to do – and they did it.

It takes time for insurance policies to run off, however, and 2002 was well along before we managed to reduce our aggregation of nuclear, chemical and biological risk (NCB) to a tolerable level. That problem is now behind us.

On another front, Gen Re's underwriting attitude has been dramatically altered: The entire organization now understands that we wish to write only properly-priced business, whatever the effect on volume. Joe and Tad judge themselves *only* by Gen Re's underwriting profitability. Size simply doesn't count.

Finally, we are making every effort to get our reserving right. If we fail at that, we can't know our true costs. And any insurer that has no idea what its costs are is heading for big trouble.

At yearend 2001, General Re attempted to reserve adequately for all losses that had occurred prior to that date and were not yet paid – but we failed badly. Therefore the company's 2002 underwriting results were penalized by an additional $1.31 billion that we recorded to correct the estimation mistakes of earlier years. When I review the reserving errors that have been uncovered at General Re, a line from a country song seems apt: "I wish I didn't know now what I didn't know then."

I can promise you that our top priority going forward is to avoid inadequate reserving. But I can't guarantee success. The natural tendency of most casualty-insurance managers is to underreserve, and they must have a particular mindset – which, it may surprise you, has nothing to do with actuarial expertise – if they are to overcome this devastating bias. Additionally, a reinsurer faces far more difficulties in reserving properly than does a primary insurer. Nevertheless, at Berkshire, we have generally been successful in our reserving, and we are determined to be at General Re as well.

In summary, I believe General Re is now well positioned to deliver huge amounts of no-cost float to Berkshire and that its sink-the-ship catastrophe risk has been eliminated. The company still possesses the important competitive strengths that I've outlined in the past. And it gained another highly significant advantage last year when each of its three largest worldwide competitors, previously rated AAA, was demoted by at least one rating agency. Among the giants, General Re, rated AAA across-the-board, is now in a class by itself in respect to financial strength.

No attribute is more important. Recently, in contrast, one of the world's largest reinsurers – a company regularly recommended to primary insurers by leading brokers – has all but ceased paying claims, including those both valid and due. This company owes many billions of dollars to hundreds of primary insurers who now face massive write-offs. "Cheap" reinsurance is a fool's bargain: When an insurer lays out money today in exchange for a reinsurer's promise to pay a decade or two later, it's dangerous – and possibly life-threatening – for the insurer to deal with any but the strongest reinsurer around.

Berkshire shareholders owe Joe and Tad a huge thank you for their accomplishments in 2002. They worked harder during the year than I would wish for anyone – and it is paying off.

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At GEICO, everything went so well in 2002 that we should pinch ourselves. Growth was substantial, profits were outstanding, policyholder retention was up and sales productivity jumped significantly. These trends continue in early 2003.

Thank Tony Nicely for all of this. As anyone who knows him will attest, Tony has been in love with GEICO for 41 years – ever since he went to work for the company at 18 – and his results reflect this passion. He is proud of the money we save policyholders – about $1 billion annually versus what other insurers, on average, would have charged them. He is proud of the service we provide these policyholders: In a key industry survey, GEICO was recently ranked above all major competitors. He is proud of his 19,162 associates, who last year were awarded profit-sharing payments equal to 19% of their base salary because of the splendid results they achieved. And he is proud of the growing profits he delivers to Berkshire shareholders.

GEICO took in $2.9 billion in premiums when Berkshire acquired full ownership in 1996. Last year, its volume was $6.9 billion, with plenty of growth to come. Particularly promising is the company's Internet operation, whose new business grew by 75% last year. Check us out at GEICO.com (or call 800-847-7536). In most states, shareholders get a special 8% discount.

Here's one footnote to GEICO's 2002 earnings that underscores the need for insurers to do business with only the strongest of reinsurers. In 1981-1983, the managers then running GEICO decided to try their hand at writing commercial umbrella and product liability insurance. The risks seemed modest: the company took in only $3,051,000 from this line and used almost all of it – $2,979,000 – to buy reinsurance in order to limit its losses. GEICO was left with a paltry $72,000 as compensation for the minor portion of the risk that it retained. But this small bite of the apple was more than enough to make the experience memorable. GEICO's losses from this venture now total a breathtaking $94.1 *million* or about 130,000% of the net premium it received. Of the total loss, uncollectable receivables from deadbeat reinsurers account for no less than $90.3 million (including $19 million charged in 2002). So much for "cheap" reinsurance.

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Ajit Jain's reinsurance division was the major reason our float cost us so little last year. If we ever put a photo in a Berkshire annual report, it will be of Ajit. In color!

Ajit's operation has amassed $13.4 billion of float, more than all but a handful of insurers have ever built up. He accomplished this from a standing start in 1986, and even now has a workforce numbering only 20. And, most important, he has produced underwriting profits.

His profits are particularly remarkable if you factor in some accounting arcana that I am about to lay on you. So prepare to eat your spinach (or, alternatively, if debits and credits aren't your thing, skip the next two paragraphs).

Ajit's 2002 underwriting profit of $534 million came *after* his operation recognized a charge of $428 million attributable to "retroactive" insurance he has written over the years. In this line of business, we assume from another insurer the obligation to pay up to a specified amount for losses they have already incurred – often for events that took place decades earlier – but that are yet to be paid (for example, because a worker hurt in 1980 will receive monthly payments for life). In these arrangements, an insurer pays us a large upfront premium, but one that is less than the losses we expect to pay. We willingly accept this differential because a) our payments are capped, and b) we get to use the money until loss payments are actually made, with these often stretching out over a decade or more. About 80% of the $6.6 billion in asbestos and environmental loss reserves that we carry arises from capped contracts, whose costs consequently can't skyrocket.

When we write a retroactive policy, we immediately record both the premium and a reserve for the expected losses. The difference between the two is entered as an asset entitled "deferred charges – reinsurance assumed." This is no small item: at yearend, for all retroactive policies, it was $3.4 billion. We then amortize this asset downward by charges to income over the expected life of each policy. These charges – $440 million in 2002, including charges at Gen Re – create an underwriting loss, but one that is intentional and desirable. And even after this drag on reported results, Ajit achieved a large underwriting gain last year.

We want to emphasize, however, that we assume risks in Ajit's operation that are huge – *far* larger than those retained by any other insurer in the world. Therefore, a single event could cause a major swing in Ajit's results in any given quarter or year. That bothers us not at all: As long as we are paid appropriately, we love taking on short-term volatility that others wish to shed. At Berkshire, we would rather earn a lumpy 15% over time than a smooth 12%.

If you see Ajit at our annual meeting, bow deeply.

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Berkshire's smaller insurers had an outstanding year. Their aggregate float grew by 38%, and they realized an underwriting profit of $32 million, or 4.5% of premiums. Collectively, these operations would make one of the finest insurance companies in the country.

Included in these figures, however, were terrible results in our California workers' compensation operation. There, we have work to do. There, too, our reserving severely missed the mark. Until we figure out how to get this business right, we will keep it small.

For the fabulous year they had in 2002, we thank Rod Eldred, John Kizer, Tom Nerney, Don Towle and Don Wurster. They added a lot of value to your Berkshire investment.

Sources of Reported Earnings

The table that follows shows the main sources of Berkshire's reported earnings. You will notice that "Purchase-Accounting Adjustments" dropped sharply in 2002, the reason being that GAAP rules changed then, no longer requiring the amortization of goodwill. This change increases our reported earnings, but has no effect on our economic earnings.

	(in millions)			
	Pre-Tax Earnings		*Berkshire's Share of Net Earnings (after taxes and Minority interests)*	
	2002	*2001*	*2002*	*2001*
Operating Earnings:				
Insurance Group:				
Underwriting – General Re	$(1,393)	$(3,671)	$(930)	$(2,391)
Underwriting – Berkshire Group	534	(647)	347	(433)
Underwriting – GEICO	416	221	271	144
Underwriting – Other Primary	32	30	20	18
Net Investment Income	3,050	2,824	2,096	1,968
Apparel[1]	229	(33)	156	(28)
Building Products[2]	516	461	313	287
Finance and Financial Products Business	1,016	519	659	336
Flight Services	225	186	133	105
MidAmerican Energy (80% owned)	613	565	359	230
Retail Operations	166	175	97	101
Scott Fetzer (excluding finance operation)	129	129	83	83
Shaw Industries[3]	424	292	258	156
Other Businesses	256	212	160	131
Purchase-Accounting Adjustments	(119)	(726)	(65)	(699)
Corporate Interest Expense	(86)	(92)	(55)	(60)
Shareholder-Designated Contributions	(17)	(17)	(11)	(11)
Other	19	25	12	16
Operating Earnings	6,010	453	3,903	(47)
Capital Gains from Investments	603	1,320	383	842
Total Earnings – All Entities	$6,613	$1,773	$4,286	$ 795

[1] *Includes Fruit of the Loom from April 30, 2002 and Garan from September 4, 2002.*

[2] *Includes Johns Manville from February 27, 2001 and MiTek from July 31, 2001.*

[3] *From date of acquisition, January 8, 2001.*

Here's a summary of major developments at our non-insurance businesses:

- MidAmerican Energy's earnings grew in 2002 and will likely do so again this year. Most of the increase, both present and expected, results from the acquisitions described earlier. To fund these, Berkshire purchased $1,273 million of MidAmerican junior debt (bringing our total holdings of these 11% obligations to $1,728 million) and also invested $402 million in a "common-equivalent" stock. We now own (on a fully-diluted basis) 80.2% of MidAmerican's equity. MidAmerican's financial statements are presented in detail on page 37.

- Last year I told you of the problems at Dexter that led to a huge loss in our shoe business. Thanks to Frank Rooney and Jim Issler of H.H. Brown, the Dexter operation has been turned around. Despite the cost of unwinding our problems there, we earned $24 million in shoes last year, an upward swing of $70 million from 2001.

  Randy Watson at Justin also contributed to this improvement, increasing margins significantly while trimming invested capital. Shoes are a tough business, but we have terrific managers and believe that in the future we will earn reasonable returns on the capital we employ in this operation.

- In a so-so year for home-furnishing and jewelry retailers, our operations did well. Among our eight retailing operations, the best performer was Homemaker's in Des Moines. There, the talented Merschman family achieved outstanding gains in both sales and profits.

  Nebraska Furniture Mart will open a new blockbuster store in metropolitan Kansas City in August. With 450,000 square feet of retail space, it could well produce the second largest volume of any furniture store in the country – the Omaha operation being the national champion. I hope Berkshire shareholders in the Kansas City area will come out for the opening (and keep coming).

- Our home and construction-related businesses – Acme Brick, Benjamin Moore Paint, Johns-Manville, MiTek and Shaw – delivered $941 million of pre-tax earnings last year. Of particular significance was Shaw's gain from $292 million in 2001 to $424 million. Bob Shaw and Julian Saul are terrific operators. Carpet prices increased only 1% last year, but Shaw's productivity gains and excellent expense control delivered significantly improved margins.

  We cherish cost-consciousness at Berkshire. Our model is the widow who went to the local newspaper to place an obituary notice. Told there was a 25-cents-a-word charge, she requested "Fred Brown died." She was then informed there was a seven-word minimum. "Okay" the bereaved woman replied, "make it 'Fred Brown died, golf clubs for sale'."

- Earnings from flight services increased last year – but only because we realized a special pre-tax gain of $60 million from the sale of our 50% interest in FlightSafety Boeing. Without this gain, earnings from our training business would have fallen slightly in concert with the slowdown in business-aviation activity. FlightSafety training continues to be the gold standard for the industry, and we expect growth in the years to come.

  At NetJets, our fractional-ownership operation, we are the runaway leader of the four-company field. FAA records indicate that our industry share in 2002 was 75%, meaning that clients purchased or leased planes from us that were valued at triple those recorded by our three competitors *combined*. Last year, our fleet flew 132.7 million nautical miles, taking clients to 130 countries.

  Our preeminence is directly attributable to Rich Santulli, NetJets' CEO. He invented the business in 1986 and ever since has exhibited an unbending devotion to the highest levels of service, safety and security. Rich, Charlie and I insist on planes (and personnel) worthy of carrying our own families – because they regularly do.

  Though NetJets revenues set a record in 2002, the company again lost money. A small profit in the U.S. was more than offset by losses in Europe. Overall, the fractional-ownership industry lost significant sums last year, and that is almost certain to be the outcome in 2003 as well. The bald fact is that airplanes are costly to operate.

  Over time, this economic reality should work to our advantage, given that for a great many companies, private aircraft are an essential business tool. And for most of these companies, NetJets makes compelling sense as either a primary or supplementary supplier of the aircraft they need.

  Many businesses could save millions of dollars annually by flying with us. Indeed, the yearly savings at some large companies could exceed $10 million. Equally important, these companies would actually increase their operational capabilities by using us. A fractional ownership of a single NetJets plane allows a client to have several planes in the air simultaneously. Additionally, through the interchange arrangement we make available, an owner of an interest in one plane can fly any of 12 other models, using whatever plane makes most sense for a mission. (One of my sisters owns a fraction of a Falcon 2000, which she uses for trips to Hawaii, but – exhibiting the Buffett gene – she interchanges to a more economical Citation Excel for short trips in the U.S.)

  The roster of NetJets users confirms the advantages we offer major businesses. Take General Electric, for example. It has a large fleet of its own but also has an unsurpassed knowledge of how to utilize aircraft effectively and economically. And it is our largest customer.

- Our finance and financial products line covers a variety of operations, among them certain activities in high-grade fixed-income securities that proved highly profitable in 2002. Earnings in this arena will probably continue for a while, but are certain to decrease – and perhaps disappear – in time.

This category also includes a highly satisfactory – but rapidly diminishing – income stream from our Berkadia investment in Finova (described in last year's report). Our partner, Leucadia National Corp., has managed this operation with great skill, willingly doing far more than its share of the heavy lifting. I like this division of labor and hope to join with Leucadia in future transactions.

On the minus side, the Finance line also includes the operations of General Re Securities, a derivatives and trading business. This entity lost $173 million pre-tax last year, a result that, in part, is a belated acknowledgment of faulty, albeit standard, accounting it used in earlier periods. Derivatives, in fact, deserve an extensive look, both in respect to the accounting their users employ and to the problems they may pose for both individual companies and our economy.

Derivatives

Charlie and I are of one mind in how we feel about derivatives and the trading activities that go with them: We view them as time bombs, both for the parties that deal in them and the economic system.

Having delivered that thought, which I'll get back to, let me retreat to explaining derivatives, though the explanation must be general because the word covers an extraordinarily wide range of financial contracts. Essentially, these instruments call for money to change hands at some future date, with the amount to be determined by one or more reference items, such as interest rates, stock prices or currency values. If, for example, you are either long or short an S&P 500 futures contract, you are a party to a very simple derivatives transaction – with your gain or loss *derived* from movements in the index. Derivatives contracts are of varying duration (running sometimes to 20 or more years) and their value is often tied to several variables.

Unless derivatives contracts are collateralized or guaranteed, their ultimate value also depends on the creditworthiness of the counterparties to them. In the meantime, though, before a contract is settled, the counterparties record profits and losses – often huge in amount – in their current earnings statements without so much as a penny changing hands.

The range of derivatives contracts is limited only by the imagination of man (or sometimes, so it seems, madmen). At Enron, for example, newsprint and broadband derivatives, due to be settled many years in the future, were put on the books. Or say you want to write a contract speculating on the number of twins to be born in Nebraska in 2020. No problem – at a price, you will easily find an obliging counterparty.

When we purchased Gen Re, it came with General Re Securities, a derivatives dealer that Charlie and I didn't want, judging it to be dangerous. We failed in our attempts to sell the operation, however, and are now terminating it.

But closing down a derivatives business is easier said than done. It will be a great many years before we are totally out of this operation (though we reduce our exposure daily). In fact, the reinsurance and derivatives businesses are similar: Like Hell, both are easy to enter and almost impossible to exit. In either industry, once you write a contract – which may require a large payment decades later – you are usually stuck with it. True, there are methods by which the risk can be laid off with others. But most strategies of that kind leave you with residual liability.

Another commonality of reinsurance and derivatives is that both generate reported earnings that are often wildly overstated. That's true because today's earnings are in a significant way based on estimates whose inaccuracy may not be exposed for many years.

Errors will usually be honest, reflecting only the human tendency to take an optimistic view of one's commitments. But the parties to derivatives also have enormous incentives to cheat in accounting for them. Those who trade derivatives are usually paid (in whole or part) on "earnings" calculated by mark-to-market accounting. But often there is no real market (think about our contract involving twins) and "mark-to-model" is utilized. This substitution can bring on large-scale mischief. As a general rule, contracts involving multiple reference items and distant settlement dates increase the opportunities for counterparties to use fanciful assumptions. In the twins scenario, for example, the two parties to the contract might well use differing models allowing *both* to show substantial profits for many years. In extreme cases, mark-to-model degenerates into what I would call mark-to-myth.

Of course, both internal and outside auditors review the numbers, but that's no easy job. For example, General Re Securities at yearend (after ten months of winding down its operation) had 14,384

contracts outstanding, involving 672 counterparties around the world. Each contract had a plus or minus value derived from one or more reference items, including some of mind-boggling complexity. Valuing a portfolio like that, expert auditors could easily and honestly have widely varying opinions.

The valuation problem is far from academic: In recent years, some huge-scale frauds and near-frauds have been facilitated by derivatives trades. In the energy and electric utility sectors, for example, companies used derivatives and trading activities to report great "earnings" – until the roof fell in when they actually tried to convert the derivatives-related receivables on their balance sheets into cash. "Mark-to-market" then turned out to be truly "mark-to-myth."

I can assure you that the marking errors in the derivatives business have not been symmetrical. Almost invariably, they have favored either the trader who was eyeing a multi-million dollar bonus or the CEO who wanted to report impressive "earnings" (or both). The bonuses were paid, and the CEO profited from his options. Only much later did shareholders learn that the reported earnings were a sham.

Another problem about derivatives is that they can exacerbate trouble that a corporation has run into for completely unrelated reasons. This pile-on effect occurs because many derivatives contracts require that a company suffering a credit downgrade immediately supply collateral to counterparties. Imagine, then, that a company is downgraded because of general adversity and that its derivatives instantly kick in with *their* requirement, imposing an unexpected and enormous demand for cash collateral on the company. The need to meet this demand can then throw the company into a liquidity crisis that may, in some cases, trigger still more downgrades. It all becomes a spiral that can lead to a corporate meltdown.

Derivatives also create a daisy-chain risk that is akin to the risk run by insurers or reinsurers that lay off much of their business with others. In both cases, huge receivables from many counterparties tend to build up over time. (At Gen Re Securities, we still have $6.5 billion of receivables, though we've been in a liquidation mode for nearly a year.) A participant may see himself as prudent, believing his large credit exposures to be diversified and therefore not dangerous. Under certain circumstances, though, an exogenous event that causes the receivable from Company A to go bad will also affect those from Companies B through Z. History teaches us that a crisis often causes problems to correlate in a manner undreamed of in more tranquil times.

In banking, the recognition of a "linkage" problem was one of the reasons for the formation of the Federal Reserve System. Before the Fed was established, the failure of weak banks would sometimes put sudden and unanticipated liquidity demands on previously-strong banks, causing them to fail in turn. The Fed now insulates the strong from the troubles of the weak. But there is no central bank assigned to the job of preventing the dominoes toppling in insurance or derivatives. In these industries, firms that are fundamentally solid can become troubled simply because of the travails of other firms further down the chain. When a "chain reaction" threat exists within an industry, it pays to minimize links of any kind. That's how we conduct our reinsurance business, and it's one reason we are exiting derivatives.

Many people argue that derivatives reduce systemic problems, in that participants who can't bear certain risks are able to transfer them to stronger hands. These people believe that derivatives act to stabilize the economy, facilitate trade, and eliminate bumps for individual participants. And, on a micro level, what they say is often true. Indeed, at Berkshire, I sometimes engage in large-scale derivatives transactions in order to facilitate certain investment strategies.

Charlie and I believe, however, that the macro picture is dangerous and getting more so. Large amounts of risk, particularly credit risk, have become concentrated in the hands of relatively few derivatives dealers, who in addition trade extensively with one other. The troubles of one could quickly infect the others. On top of that, these dealers are owed huge amounts by non-dealer counterparties. Some of these counterparties, as I've mentioned, are linked in ways that could cause them to contemporaneously run into a problem because of a single event (such as the implosion of the telecom industry or the precipitous decline in the value of merchant power projects). Linkage, when it suddenly surfaces, can trigger serious systemic problems.

Indeed, in 1998, the leveraged and derivatives-heavy activities of a single hedge fund, Long-Term Capital Management, caused the Federal Reserve anxieties so severe that it hastily orchestrated a rescue effort. In later Congressional testimony, Fed officials acknowledged that, had they not intervened, the outstanding trades of LTCM – a firm unknown to the general public and employing only a few hundred

people – could well have posed a serious threat to the stability of American markets. In other words, the Fed acted because its leaders were fearful of what might have happened to other financial institutions had the LTCM domino toppled. And this affair, though it paralyzed many parts of the fixed-income market for weeks, was far from a worst-case scenario.

One of the derivatives instruments that LTCM used was total-return swaps, contracts that facilitate 100% leverage in various markets, including stocks. For example, Party A to a contract, usually a bank, puts up all of the money for the purchase of a stock while Party B, without putting up any capital, agrees that at a future date it will receive any gain or pay any loss that the bank realizes.

Total-return swaps of this type make a joke of margin requirements. Beyond that, other types of derivatives severely curtail the ability of regulators to curb leverage and generally get their arms around the risk profiles of banks, insurers and other financial institutions. Similarly, even experienced investors and analysts encounter major problems in analyzing the financial condition of firms that are heavily involved with derivatives contracts. When Charlie and I finish reading the long footnotes detailing the derivatives activities of major banks, the only thing we understand is that we *don't* understand how much risk the institution is running.

The derivatives genie is now well out of the bottle, and these instruments will almost certainly multiply in variety and number until some event makes their toxicity clear. Knowledge of how dangerous they are has already permeated the electricity and gas businesses, in which the eruption of major troubles caused the use of derivatives to diminish dramatically. Elsewhere, however, the derivatives business continues to expand unchecked. Central banks and governments have so far found no effective way to control, or even monitor, the risks posed by these contracts.

Charlie and I believe Berkshire should be a fortress of financial strength – for the sake of our owners, creditors, policyholders and employees. We try to be alert to any sort of megacatastrophe risk, and that posture may make us unduly apprehensive about the burgeoning quantities of long-term derivatives contracts and the massive amount of uncollateralized receivables that are growing alongside. In our view, however, derivatives are financial weapons of mass destruction, carrying dangers that, while now latent, are potentially lethal.

Investments

Below we show our common stock investments. Those that had a market value of more than $500 million at the end of 2002 are itemized.

		12/31/02	
Shares	*Company*	*Cost*	*Market*
		(dollars in millions)	
151,610,700	American Express Company	$ 1,470	$ 5,359
200,000,000	The Coca-Cola Company	1,299	8,768
96,000,000	The Gillette Company	600	2,915
15,999,200	H&R Block, Inc.	255	643
6,708,760	M&T Bank	103	532
24,000,000	Moody's Corporation	499	991
1,727,765	The Washington Post Company	11	1,275
53,265,080	Wells Fargo & Company	306	2,497
	Others	4,621	5,383
	Total Common Stocks	$9,164	$28,363

We continue to do little in equities. Charlie and I are increasingly comfortable with our holdings in Berkshire's major investees because most of them have increased their earnings while their valuations have decreased. But we are not inclined to add to them. Though these enterprises have good prospects, we don't yet believe their shares are undervalued.

In our view, the same conclusion fits stocks generally. Despite three years of falling prices, which have significantly improved the attractiveness of common stocks, we still find *very* few that even mildly

interest us. That dismal fact is testimony to the insanity of valuations reached during The Great Bubble. Unfortunately, the hangover may prove to be proportional to the binge.

The aversion to equities that Charlie and I exhibit today is far from congenital. We love owning common stocks – if they can be purchased at attractive prices. In my 61 years of investing, 50 or so years have offered that kind of opportunity. There will be years like that again. Unless, however, we see a very high probability of at least 10% pre-tax returns (which translate to 6½-7% after corporate tax), we will sit on the sidelines. With short-term money returning less than 1% after-tax, sitting it out is no fun. But occasionally successful investing requires inactivity.

Last year we were, however, able to make sensible investments in a few "junk" bonds and loans. Overall, our commitments in this sector sextupled, reaching $8.3 billion by yearend.

Investing in junk bonds and investing in stocks are alike in certain ways: Both activities require us to make a price-value calculation and also to scan hundreds of securities to find the very few that have attractive reward/risk ratios. But there are important differences between the two disciplines as well. In stocks, we expect every commitment to work out well because we concentrate on conservatively financed businesses with strong competitive strengths, run by able and honest people. If we buy into these companies at sensible prices, losses should be rare. Indeed, during the 38 years we have run the company's affairs, gains from the equities we manage at Berkshire (that is, excluding those managed at General Re and GEICO) have exceeded losses by a ratio of about 100 to one.

Purchasing junk bonds, we are dealing with enterprises that are far more marginal. These businesses are usually overloaded with debt and often operate in industries characterized by low returns on capital. Additionally, the quality of management is sometimes questionable. Management may even have interests that are directly counter to those of debtholders. Therefore, we expect that we will have occasional large losses in junk issues. So far, however, we have done reasonably well in this field.

Corporate Governance

Both the ability and fidelity of managers have long needed monitoring. Indeed, nearly 2,000 years ago, Jesus Christ addressed this subject, speaking (Luke 16:2) approvingly of "a certain rich man" who told his manager, "Give an account of thy stewardship; for thou mayest no longer be steward."

Accountability and stewardship withered in the last decade, becoming qualities deemed of little importance by those caught up in the Great Bubble. As stock prices went up, the behavioral norms of managers went down. By the late '90s, as a result, CEOs who traveled the high road did not encounter heavy traffic.

Most CEOs, it should be noted, are men and women you would be happy to have as trustees for your children's assets or as next-door neighbors. Too many of these people, however, have in recent years behaved badly at the office, fudging numbers and drawing obscene pay for mediocre business achievements. These otherwise decent people simply followed the career path of Mae West: "I was Snow White but I drifted."

In theory, corporate boards should have prevented this deterioration of conduct. I last wrote about the responsibilities of directors in the 1993 annual report. (We will send you a copy of this discussion on request, or you may read it on the Internet in the Corporate Governance section of the 1993 letter.) There, I said that directors "should behave as if there was a single absentee owner, whose long-term interest they should try to further in all proper ways." This means that directors must get rid of a manager who is mediocre or worse, no matter how likable he may be. Directors must react as did the chorus-girl bride of an 85-year-old multimillionaire when he asked whether she would love him if he lost his money. "Of course," the young beauty replied, "I would miss you, but I would still love you."

In the 1993 annual report, I also said directors had another job: "If able but greedy managers over-reach and try to dip too deeply into the shareholders' pockets, directors must slap their hands." Since I wrote that, over-reaching has become common but few hands have been slapped.

Why have intelligent and decent directors failed so miserably? The answer lies not in inadequate laws – it's always been clear that directors are obligated to represent the interests of shareholders – but rather in what I'd call "boardroom atmosphere."

It's almost impossible, for example, in a boardroom populated by well-mannered people, to raise the question of whether the CEO should be replaced. It's equally awkward to question a proposed acquisition that has been endorsed by the CEO, particularly when his inside staff and outside advisors are present and unanimously support his decision. (They wouldn't be in the room if they didn't.) Finally, when the compensation committee – armed, as always, with support from a high-paid consultant – reports on a megagrant of options to the CEO, it would be like belching at the dinner table for a director to suggest that the committee reconsider.

These "social" difficulties argue for outside directors regularly meeting without the CEO – a reform that is being instituted and that I enthusiastically endorse. I doubt, however, that most of the other new governance rules and recommendations will provide benefits commensurate with the monetary and other costs they impose.

The current cry is for "independent" directors. It is certainly true that it is desirable to have directors who think and speak independently – but they must also be business-savvy, interested and shareholder-oriented. In my 1993 commentary, those are the three qualities I described as essential.

Over a span of 40 years, I have been on 19 public-company boards (excluding Berkshire's) and have interacted with perhaps 250 directors. Most of them were "independent" as defined by today's rules. But the great majority of these directors lacked at least one of the three qualities I value. As a result, their contribution to shareholder well-being was minimal at best and, too often, negative. These people, decent and intelligent though they were, simply did not know enough about business and/or care enough about shareholders to question foolish acquisitions or egregious compensation. My own behavior, I must ruefully add, frequently fell short as well: Too often I was silent when management made proposals that I judged to be counter to the interests of shareholders. In those cases, collegiality trumped independence.

So that we may further see the failings of "independence," let's look at a 62-year case study covering thousands of companies. Since 1940, federal law has mandated that a large proportion of the directors of investment companies (most of these mutual funds) be independent. The requirement was originally 40% and now it is 50%. In any case, the typical fund has long operated with a majority of directors who qualify as independent.

These directors and the entire board have many perfunctory duties, but in actuality have only two important responsibilities: obtaining the best possible investment manager and negotiating with that manager for the lowest possible fee. When you are seeking investment help yourself, those two goals are the only ones that count, and directors acting for other investors should have exactly the same priorities. Yet when it comes to independent directors pursuing either goal, their record has been absolutely pathetic.

Many thousands of investment-company boards meet annually to carry out the vital job of selecting who will manage the savings of the millions of owners they represent. Year after year the directors of Fund A select manager A, Fund B directors select manager B, etc. … in a zombie-like process that makes a mockery of stewardship. Very occasionally, a board will revolt. But for the most part, a monkey will type out a Shakespeare play before an "independent" mutual-fund director will suggest that his fund look at other managers, even if the incumbent manager has persistently delivered substandard performance. When they are handling their own money, of course, directors will look to alternative advisors – but it never enters their minds to do so when they are acting as fiduciaries for others.

The hypocrisy permeating the system is vividly exposed when a fund management company – call it "A" – is sold for a huge sum to Manager "B". Now the "independent" directors experience a "counter-revelation" and decide that Manager B is the best that can be found – even though B was available (and ignored) in previous years. Not so incidentally, B also could formerly have been hired at a far lower rate than is possible now that it has bought Manager A. That's because B has laid out a fortune to acquire A, and B must now recoup that cost through fees paid by the A shareholders who were "delivered" as part of the deal. (For a terrific discussion of the mutual fund business, read John Bogle's *Common Sense on Mutual Funds*.)

A few years ago, my daughter was asked to become a director of a family of funds managed by a major institution. The fees she would have received as a director were very substantial, enough to have increased her annual income by about 50% (a boost, she will tell you, she could use!). Legally, she would have been an independent director. But did the fund manager who approached her think there was *any* chance that she would think independently as to what advisor the fund should employ? Of course not. I am

proud to say that she showed *real* independence by turning down the offer. The fund, however, had no trouble filling the slot (and – surprise – the fund has not changed managers).

Investment company directors have failed as well in negotiating management fees (just as compensation committees of many American companies have failed to hold the compensation of their CEOs to sensible levels). If you or I were empowered, I can assure you that we could easily negotiate materially lower management fees with the incumbent managers of most mutual funds. And, believe me, if directors were promised a portion of any fee savings they realized, the skies would be filled with falling fees. Under the current system, though, reductions mean nothing to "independent" directors while meaning everything to managers. So guess who wins?

Having the right money manager, of course, is far more important to a fund than reducing the manager's fee. Both tasks are nonetheless the job of directors. And in stepping up to these all-important responsibilities, tens of thousands of "independent" directors, over more than six decades, have failed miserably. (They've succeeded, however, in taking care of themselves; their fees from serving on multiple boards of a single "family" of funds often run well into six figures.)

When the manager cares deeply and the directors don't, what's needed is a powerful countervailing force – and that's the missing element in today's corporate governance. Getting rid of mediocre CEOs and eliminating overreaching by the able ones requires action by owners – big owners. The logistics aren't that tough: The ownership of stock has grown increasingly concentrated in recent decades, and today it would be easy for institutional managers to exert their will on problem situations. Twenty, or even fewer, of the largest institutions, acting together, could effectively reform corporate governance at a given company, simply by withholding their votes for directors who were tolerating odious behavior. In my view, this kind of concerted action is the only way that corporate stewardship can be meaningfully improved.

Unfortunately, certain major investing institutions have "glass house" problems in arguing for better governance elsewhere; they would shudder, for example, at the thought of their own performance and fees being closely inspected by their own boards. But Jack Bogle of Vanguard fame, Chris Davis of Davis Advisors, and Bill Miller of Legg Mason are now offering leadership in getting CEOs to treat their owners properly. Pension funds, as well as other fiduciaries, will reap better investment returns in the future if they support these men.

The acid test for reform will be CEO compensation. Managers will cheerfully agree to board "diversity," attest to SEC filings and adopt meaningless proposals relating to process. What many will fight, however, is a hard look at their own pay and perks.

In recent years compensation committees too often have been tail-wagging puppy dogs meekly following recommendations by consultants, a breed not known for allegiance to the faceless shareholders who pay their fees. (If you can't tell whose side someone is on, they are *not* on yours.) True, each committee is required by the SEC to state its reasoning about pay in the proxy. But the words are usually boilerplate written by the company's lawyers or its human-relations department.

This costly charade should cease. Directors should not serve on compensation committees unless they are *themselves* capable of negotiating on behalf of owners. They should explain both how they think about pay and how they measure performance. Dealing with shareholders' money, moreover, they should behave as they would were it their own.

In the 1890s, Samuel Gompers described the goal of organized labor as "More!" In the 1990s, America's CEOs adopted his battle cry. The upshot is that CEOs have often amassed riches while their shareholders have experienced financial disasters.

Directors should stop such piracy. There's nothing wrong with paying well for truly exceptional business performance. But, for anything short of that, it's time for directors to shout "Less!" It would be a travesty if the bloated pay of recent years became a baseline for future compensation. Compensation committees should go back to the drawing boards.

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Rules that have been proposed and that are almost certain to go into effect will require changes in Berkshire's board, obliging us to add directors who meet the codified requirements for "independence."

Doing so, we will add a test that we believe is important, but far from determinative, in fostering independence: We will select directors who have huge and true ownership interests (that is, stock that they or their family have *purchased*, not been given by Berkshire or received via options), expecting those interests to influence their actions to a degree that dwarfs other considerations such as prestige and board fees.

That gets to an often-overlooked point about directors' compensation, which at public companies averages perhaps $50,000 annually. It baffles me how the many directors who look to these dollars for perhaps 20% or more of their annual income can be considered independent when Ron Olson, for example, who is on our board, may be deemed not independent because he receives a tiny percentage of his very large income from Berkshire legal fees. As the investment company saga suggests, a director whose moderate income is heavily dependent on directors' fees – and who hopes mightily to be invited to join other boards in order to earn more fees – is highly unlikely to offend a CEO or fellow directors, who in a major way will determine his reputation in corporate circles. If regulators believe that "significant" money taints independence (and it certainly can), they have overlooked a massive class of possible offenders.

At Berkshire, wanting our fees to be meaningless to our directors, we pay them only a pittance. Additionally, not wanting to insulate our directors from any corporate disaster we might have, we don't provide them with officers' and directors' liability insurance (an unorthodoxy that, not so incidentally, has saved our shareholders many millions of dollars over the years). Basically, we want the behavior of our directors to be driven by the effect their decisions will have on their family's net worth, not by their compensation. That's the equation for Charlie and me as managers, and we think it's the right one for Berkshire directors as well.

To find new directors, we will look through our shareholders list for people who directly, or in their family, have had large Berkshire holdings – in the millions of dollars – for a long time. Individuals making that cut should automatically meet two of our tests, namely that they be interested in Berkshire and shareholder-oriented. In our third test, we will look for business savvy, a competence that is far from commonplace.

Finally, we will continue to have members of the Buffett family on the board. They are not there to run the business after I die, nor will they then receive compensation of any kind. Their purpose is to ensure, for both our shareholders and managers, that Berkshire's special culture will be nurtured when I'm succeeded by other CEOs.

Any change we make in the composition of our board will not alter the way Charlie and I run Berkshire. We will continue to emphasize substance over form in our work and waste as little time as possible during board meetings in show-and-tell and perfunctory activities. The most important job of our board is likely to be the selection of successors to Charlie and me, and that is a matter upon which it will focus.

The board we have had up to now has overseen a shareholder-oriented business, consistently run in accord with the economic principles set forth on pages 68-74 (which I urge all new shareholders to read). Our goal is to obtain new directors who are equally devoted to those principles.

The Audit Committee

Audit committees can't audit. Only a company's outside auditor can determine whether the earnings that a management purports to have made are suspect. Reforms that ignore this reality and that instead focus on the structure and charter of the audit committee will accomplish little.

As we've discussed, far too many managers have fudged their company's numbers in recent years, using both accounting and operational techniques that are typically legal but that nevertheless materially mislead investors. Frequently, auditors knew about these deceptions. Too often, however, they remained silent. The key job of the audit committee is simply to get the auditors to divulge what they know.

To do this job, the committee must make sure that the auditors worry more about misleading its members than about offending management. In recent years auditors have not felt that way. They have instead generally viewed the CEO, rather than the shareholders or directors, as their client. That has been a natural result of day-to-day working relationships and also of the auditors' understanding that, no matter what the book says, the CEO and CFO pay their fees and determine whether they are retained for both auditing and other work. The rules that have been recently instituted won't materially change this reality. What *will* break

this cozy relationship is audit committees unequivocally putting auditors on the spot, making them understand they will become liable for major monetary penalties if they don't come forth with what they know or suspect.

In my opinion, audit committees can accomplish this goal by asking four questions of auditors, the answers to which should be recorded and reported to shareholders. These questions are:

1. If the auditor were solely responsible for preparation of the company's financial statements, would they have in any way been prepared differently from the manner selected by management? This question should cover both material and nonmaterial differences. If the auditor would have done something differently, both management's argument and the auditor's response should be disclosed. The audit committee should then evaluate the facts.

2. If the auditor were an investor, would he have received – in plain English – the information essential to his understanding the company's financial performance during the reporting period?

3. Is the company following the same internal audit procedure that would be followed if the auditor himself were CEO? If not, what are the differences and why?

4. Is the auditor aware of any actions – either accounting or operational – that have had the purpose and effect of moving revenues or expenses from one reporting period to another?

If the audit committee asks these questions, its composition – the focus of most reforms – is of minor importance. In addition, the procedure will save time and expense. When auditors are put on the spot, they will do their duty. If they are not put on the spot . . . well, we have seen the results of that.

The questions we have enumerated should be asked at least a week before an earnings report is released to the public. That timing will allow differences between the auditors and management to be aired with the committee and resolved. If the timing is tighter – if an earnings release is imminent when the auditors and committee interact – the committee will feel pressure to rubberstamp the prepared figures. Haste is the enemy of accuracy. My thinking, in fact, is that the SEC's recent shortening of reporting deadlines will hurt the quality of information that shareholders receive. Charlie and I believe that rule is a mistake and should be rescinded.

The primary advantage of our four questions is that they will act as a prophylactic. Once the auditors know that the audit committee will require them to affirmatively endorse, rather than merely acquiesce to, management's actions, they will resist misdoings early in the process, well before specious figures become embedded in the company's books. Fear of the plaintiff's bar will see to that.

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The Chicago Tribune ran a four-part series on Arthur Andersen last September that did a great job of illuminating how accounting standards and audit quality have eroded in recent years. A few decades ago, an Arthur Andersen audit opinion was the gold standard of the profession. Within the firm, an elite Professional Standards Group (PSG) insisted on honest reporting, no matter what pressures were applied by the client. Sticking to these principles, the PSG took a stand in 1992 that the cost of stock options should be recorded as the expense it clearly was. The PSG's position was reversed, however, by the "rainmaking" partners of Andersen who knew what their clients wanted – higher reported earnings no matter what the reality. Many CEOs also fought expensing because they knew that the obscene megagrants of options they craved would be slashed if the true costs of these had to be recorded.

Soon after the Andersen reversal, the independent accounting standards board (FASB) voted 7-0 for expensing options. Predictably, the major auditing firms and an army of CEOs stormed Washington to pressure the Senate – what better institution to decide accounting questions? – into castrating the FASB. The voices of the protesters were amplified by their large political contributions, usually made with corporate money belonging to the very owners about to be bamboozled. It was not a sight for a civics class.

To its shame, the Senate voted 88-9 against expensing. Several prominent Senators even called for the demise of the FASB if it didn't abandon its position. (So much for independence.) Arthur Levitt, Jr., then Chairman of the SEC – and generally a vigilant champion of shareholders – has since described his reluctant

bowing to Congressional and corporate pressures as the act of his chairmanship that he most regrets. (The details of this sordid affair are related in Levitt's excellent book, *Take on the Street*.)

With the Senate in its pocket and the SEC outgunned, corporate America knew that it was now boss when it came to accounting. With that, a new era of anything-goes earnings reports – blessed and, in some cases, encouraged by big-name auditors – was launched. The licentious behavior that followed quickly became an air pump for The Great Bubble.

After being threatened by the Senate, FASB backed off its original position and adopted an "honor system" approach, declaring expensing to be preferable but also allowing companies to ignore the cost if they wished. The disheartening result: Of the 500 companies in the S&P, 498 adopted the method deemed less desirable, which of course let them report higher "earnings." Compensation-hungry CEOs loved this outcome: Let FASB have the honor; *they* had the system.

In our 1992 annual report, discussing the unseemly and self-serving behavior of so many CEOs, I said "the business elite risks losing its credibility on issues of significance to society – about which it may have much of value to say – when it advocates the incredible on issues of significance to itself."

That loss of credibility has occurred. The job of CEOs is now to regain America's trust – and for the country's sake it's important that they do so. They will not succeed in this endeavor, however, by way of fatuous ads, meaningless policy statements, or structural changes of boards and committees. Instead, CEOs must embrace stewardship as a way of life and treat their owners as partners, not patsies. It's time for CEOs to walk the walk.

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Three suggestions for investors: First, beware of companies displaying weak accounting. If a company still does not expense options, or if its pension assumptions are fanciful, watch out. When managements take the low road in aspects that are visible, it is likely they are following a similar path behind the scenes. There is seldom just one cockroach in the kitchen.

Trumpeting EBITDA (earnings before interest, taxes, depreciation and amortization) is a particularly pernicious practice. Doing so implies that depreciation is not truly an expense, given that it is a "non-cash" charge. That's nonsense. In truth, depreciation is a particularly unattractive expense because the cash outlay it represents is paid up front, before the asset acquired has delivered any benefits to the business. Imagine, if you will, that at the beginning of this year a company paid all of its employees for the next ten years of their service (in the way they would lay out cash for a fixed asset to be useful for ten years). In the following nine years, compensation would be a "non-cash" expense – a reduction of a prepaid compensation asset established this year. Would anyone care to argue that the recording of the expense in years two through ten would be simply a bookkeeping formality?

Second, unintelligible footnotes usually indicate untrustworthy management. If you can't understand a footnote or other managerial explanation, it's usually because the CEO doesn't want you to. Enron's descriptions of certain transactions *still* baffle me.

Finally, be suspicious of companies that trumpet earnings projections and growth expectations. Businesses seldom operate in a tranquil, no-surprise environment, and earnings simply don't advance smoothly (except, of course, in the offering books of investment bankers).

Charlie and I not only don't know today what our businesses will earn *next year* – we don't even know what they will earn *next quarter*. We are suspicious of those CEOs who regularly claim they do know the future – and we become downright incredulous if they consistently reach their declared targets. Managers that always promise to "make the numbers" will at some point be tempted to *make up* the numbers.

Shareholder-Designated Contributions

About 97.3% of all eligible shares participated in Berkshire's 2002 shareholder-designated contributions program, with contributions totaling $16.5 million.

Cumulatively, over the 22 years of the program, Berkshire has made contributions of $197 million pursuant to the instructions of our shareholders. The rest of Berkshire's giving is done by our subsidiaries, which stick to the philanthropic patterns that prevailed before they were acquired (except that their former

owners themselves take on the responsibility for their personal charities). In aggregate, our subsidiaries made contributions of $24 million in 2002, including in-kind donations of $4 million.

To participate in future programs, you must own Class A shares that are registered in the name of the actual owner, not the nominee name of a broker, bank or depository. Shares not so registered on August 31, 2003 will be ineligible for the 2003 program. When you get the contributions form from us, return it promptly so that it does not get put aside or forgotten. Designations received after the due date will not be honored.

The Annual Meeting

This year's annual meeting will be held on Saturday, May 3, and once again we will be at the Civic Auditorium. The doors will open at 7 a.m., the movie will begin at 8:30, and the meeting itself will commence at 9:30. There will be a short break at noon for food. (Sandwiches will be available at the Civic's concession stands.) That interlude aside, Charlie and I will answer questions until 3:30. Give us your best shot.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. They do a terrific job for us each year, and I thank them for it.

In our usual fashion, we will run vans from the larger hotels to the meeting. Afterwards, the vans will make trips back to the hotels and to Nebraska Furniture Mart, Borsheim's and the airport. Even so, you are likely to find a car useful.

Our exhibit area for Berkshire goods and services will be bigger and better than ever this year. So be prepared to *spend*. I think you will particularly enjoy visiting The Pampered Chef display, where you may run into Doris and Sheila.

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a special shareholder discount (usually 8%). This special offer is permitted by 41 of the 49 jurisdictions in which we operate. Bring the details of your existing insurance and check out whether we can save you money.

On Saturday, at the Omaha airport, we will have the usual array of aircraft from NetJets® available for your inspection. Just ask a representative at the Civic about viewing any of these planes. If you buy what we consider an appropriate number of items during the weekend, you may well need your own plane to take them home. Furthermore, if you buy a fraction of a plane, I'll personally see that you get a three-pack of briefs from Fruit of the Loom.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" pricing, which means we will be offering our shareholders a discount that is customarily given only to employees. We initiated this special pricing at NFM six years ago, and sales during the "Weekend" grew from $5.3 million in 1997 to $14.2 million in 2002.

To get the discount, you must make your purchases during the Thursday, May 1 through Monday, May 5 period and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but that, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. on weekdays and 10 a.m. to 6 p.m. on Sundays. On Saturday this year, from 6 p.m. to 10 p.m., we are having a special affair for shareholders only. I'll be there, eating hot dogs and drinking Coke.

Borsheim's — the largest jewelry store in the country except for Tiffany's Manhattan store — will have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 10 p.m. on Friday, May 2. The second, the main gala, will be from 9 a.m. to 5 p.m. on Sunday, May 4. Ask Charlie to autograph your *sales ticket*.

Shareholder prices will be available Thursday through Monday, so if you wish to avoid the large crowds that will assemble on Friday evening and Sunday, come at other times and identify yourself as a

shareholder. On Saturday, we will be open until 6 p.m. Borsheim's operates on a gross margin that is fully twenty percentage points below that of its major rivals, so the more you buy, the more you save (or at least that's what my wife and daughter tell me).

In the mall outside of Borsheim's, we will have some of the world's top bridge experts available to play with our shareholders on Sunday afternoon. We expect Bob Hamman, Sharon Osberg, Fred Gitelman and Sheri Winestock to host tables. Patrick Wolff, twice U.S. chess champion, will also be in the mall, taking on all comers — blindfolded! Last year, Patrick played six games *simultaneously* — with his blindfold securely in place — and for the first time suffered a loss. (He won the other five games, however.) He's been training overtime ever since and is planning to start a new streak this year.

Additionally, Bill Robertie, one of only two players who have twice won the backgammon world championship, will be on hand to test your skill at that game. Finally, we will have a newcomer: Peter Morris, the winner of the World Scrabble Championship in 1991. Peter will play on five boards simultaneously (no blindfold for him, however) and will also allow his challengers to consult a Scrabble dictionary.

We are also going to test your vocal chords at the mall. My friend, Al Oehrle of Philadelphia, will be at the piano to play any song in any key. Susie and I will lead the singing. *She* is good.

Gorat's — my favorite steakhouse — will again be open exclusively for Berkshire shareholders on Sunday, May 4, and will be serving from 4 p.m. until 10 p.m. Please remember that to come to Gorat's on Sunday, you must have a reservation. To make one, call 402-551-3733 on April 1 (*but not before*). If Sunday is sold out, try Gorat's on one of the other evenings you will be in town. Show your sophistication by ordering a rare T-bone with a double order of hash browns.

There won't be a ball game this year. After my fastball was clocked at 5 mph last year, I decided to hang up my spikes. So I'll see you on Saturday night at NFM instead.

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Next year our meeting will be held at Omaha's new convention center. This switch in locations will allow us to hold the event on either Saturday or Monday, whichever the majority of you prefer. Using the enclosed special ballot, please vote for your preference – *but only if you are likely to attend in the future*.

We will make the Saturday/Monday decision based upon a count of shareholders, not shares. That is, a Class B shareholder owning one share will have a vote equal to that of a Class A shareholder owning many shares. If the vote is close, we will go with the preference of out-of-towners.

Again, please vote only if there is a reasonable chance that you will be attending some meetings in the future.

Warren E. Buffett
February 21, 2003 Chairman of the Board

Note: The following table appears in the printed Annual Report on the facing page of the Chairman's Letter and is referred to in that letter.

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
Average Annual Gain — 1965-2003	22.2	10.4	11.8
Overall Gain — 1964-2003	259,485	4,743	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our gain in net worth during 2003 was $13.6 billion, which increased the per-share book value of both our Class A and Class B stock by 21%. Over the last 39 years (that is, since present management took over) per-share book value has grown from $19 to $50,498, a rate of 22.2% compounded annually.*

It's per-share intrinsic value that counts, however, not book value. Here, the news is good: Between 1964 and 2003, Berkshire morphed from a struggling northern textile business whose intrinsic value was less than book into a widely diversified enterprise worth far more than book. Our 39-year gain in intrinsic value has therefore somewhat exceeded our 22.2% gain in book. (For a better understanding of intrinsic value and the economic principles that guide Charlie Munger, my partner and Berkshire's vice-chairman, and me in running Berkshire, please read our Owner's Manual, beginning on page 69.)

Despite their shortcomings, book value calculations are useful at Berkshire as a slightly understated gauge for measuring the *long-term* rate of increase in our intrinsic value. The calculation is less relevant, however, than it once was in rating any single year's performance versus the S&P 500 index (a comparison we display on the facing page). Our equity holdings, including convertible preferreds, have fallen considerably as a percentage of our net worth, from an average of 114% in the 1980s, for example, to an average of 50% in 2000-03. Therefore, yearly movements in the stock market now affect a much smaller portion of our net worth than was once the case.

Nonetheless, Berkshire's long-term performance versus the S&P remains all-important. Our shareholders can buy the S&P through an index fund at very low cost. Unless we achieve gains in per-share intrinsic value in the future that outdo the S&P's performance, Charlie and I will be adding nothing to what you can accomplish on your own.

If we fail, we will have no excuses. Charlie and I operate in an ideal environment. To begin with, we are supported by an incredible group of men and women who run our operating units. If there were a Corporate Cooperstown, its roster would surely include many of our CEOs. Any shortfall in Berkshire's results will not be caused by our managers.

Additionally, we enjoy a rare sort of managerial freedom. Most companies are saddled with institutional constraints. A company's history, for example, may commit it to an industry that now offers limited opportunity. A more common problem is a shareholder constituency that pressures its manager to dance to Wall Street's tune. Many CEOs resist, but others give in and adopt operating and capital-allocation policies far different from those they would choose if left to themselves.

At Berkshire, neither history nor the demands of owners impede intelligent decision-making. When Charlie and I make mistakes, they are – in tennis parlance – unforced errors.

*****All figures used in this report apply to Berkshire's A shares, the successor to the only stock that the company had outstanding before 1996. The B shares have an economic interest equal to 1/30th that of the A.

Operating Earnings

When valuations are similar, we strongly prefer owning businesses to owning stocks. During most of our years of operation, however, stocks were much the cheaper choice. We therefore sharply tilted our asset allocation in those years toward equities, as illustrated by the percentages cited earlier.

In recent years, however, we've found it hard to find significantly undervalued stocks, a difficulty greatly accentuated by the mushrooming of the funds we must deploy. Today, the number of stocks that can be purchased in large enough quantities to move the performance needle at Berkshire is a small fraction of the number that existed a decade ago. (Investment managers often profit far more from piling up assets than from handling those assets well. So when one tells you that increased funds won't hurt his investment performance, step back: His nose is about to grow.)

The shortage of attractively-priced stocks in which we can put large sums doesn't bother us, *providing* we can find companies to purchase that (1) have favorable and enduring economic characteristics; (2) are run by talented and honest managers and (3) are available at a sensible price. We have purchased a number of such businesses in recent years, though not enough to fully employ the gusher of cash that has come our way. In buying businesses, I've made some terrible mistakes, both of commission and omission. Overall, however, our acquisitions have led to decent gains in per-share earnings.

Below is a table that quantifies that point. But first we need to warn you that growth-rate presentations can be significantly distorted by a calculated selection of either initial or terminal dates. For example, if earnings are tiny in a beginning year, a long-term performance that was only mediocre can be made to appear sensational. That kind of distortion can come about because the company at issue was minuscule in the base year – which means that only a handful of insiders actually benefited from the touted performance – or because a larger company was then operating at just above breakeven. Picking a terminal year that is particularly buoyant will also favorably bias a calculation of growth.

The Berkshire Hathaway that present management assumed control of in 1965 had long been sizable. But in 1964, it earned only $175,586 or 15 cents per share, so close to breakeven that any calculation of earnings growth from that base would be meaningless. At the time, however, even those meager earnings looked good: Over the decade following the 1955 merger of Berkshire Fine Spinning Associates and Hathaway Manufacturing, the combined operation had lost $10.1 million and many thousands of employees had been let go. It was not a marriage made in heaven.

Against this background, we give you a picture of Berkshire's earnings growth that begins in 1968, but also includes subsequent base years spaced five years apart. A series of calculations is presented so that you can decide for yourself which period is most meaningful. I've started with 1968 because it was the first full year we operated National Indemnity, the initial acquisition we made as we began to expand Berkshire's business.

I don't believe that using 2003 as the terminal year distorts our calculations. It was a terrific year for our insurance business, but the big boost that gave to earnings was largely offset by the pathetically low interest rates we earned on our large holdings of cash equivalents (a condition that will not last). All figures shown below, it should be noted, *exclude* capital gains.

Year	*Operating Earnings in $ millions*	*Operating Earnings Per Share in $*	*Subsequent Compounded Growth Rate of Per-Share Earnings*
1964	.2	.15	Not meaningful (1964-2003)
1968	2.7	2.69	22.8% (1968-2003)
1973	11.9	12.18	20.8% (1973-2003)
1978	30.0	29.15	21.1% (1978-2003)
1983	48.6	45.60	24.3% (1983-2003)
1988	313.4	273.37	18.6% (1988-2003)
1993	477.8	413.19	23.9% (1993-2003)
1998	1,277.0	1,020.49	28.2% (1998-2003)
2003	5,422.0	3,531.32	

We will continue the capital allocation practices we have used in the past. If stocks become significantly cheaper than entire businesses, we will buy them aggressively. If selected bonds become attractive, as they did in 2002, we will again load up on these securities. Under *any* market or economic conditions, we will be happy to buy businesses that meet our standards. And, for those that do, the bigger the better. Our capital is underutilized now, but that will happen periodically. It's a painful condition to be in – but not as painful as doing something stupid. (I speak from experience.)

Overall, we are certain Berkshire's performance in the future will fall *far* short of what it has been in the past. Nonetheless, Charlie and I remain hopeful that we can deliver results that are modestly above average. That's what we're being paid for.

Acquisitions

As regular readers know, our acquisitions have often come about in strange ways. None, however, had a more unusual genesis than our purchase last year of Clayton Homes.

The unlikely source was a group of finance students from the University of Tennessee, and their teacher, Dr. Al Auxier. For the past five years, Al has brought his class to Omaha, where the group tours Nebraska Furniture Mart and Borsheim's, eats at Gorat's and then comes to Kiewit Plaza for a session with me. Usually about 40 students participate.

After two hours of give-and-take, the group traditionally presents me with a thank-you gift. (The doors stay locked until they do.) In past years it's been items such as a football signed by Phil Fulmer and a basketball from Tennessee's famous women's team.

This past February, the group opted for a book – which, luckily for me, was the recently-published autobiography of Jim Clayton, founder of Clayton Homes. I already knew the company to be the class act of the manufactured housing industry, knowledge I acquired after earlier making the mistake of buying some distressed junk debt of Oakwood Homes, one of the industry's largest companies. At the time of that purchase, I did not understand how atrocious consumer-financing practices had become throughout most of the manufactured housing industry. But I learned: Oakwood rather promptly went bankrupt.

Manufactured housing, it should be emphasized, can deliver very good value to home purchasers. Indeed, for decades, the industry has accounted for more than 15% of the homes built in the U.S. During those years, moreover, both the quality and variety of manufactured houses consistently improved.

Progress in design and construction was not matched, however, by progress in distribution and financing. Instead, as the years went by, the industry's business model increasingly centered on the ability of both the retailer and manufacturer to unload terrible loans on naive lenders. When "securitization" then became popular in the 1990s, further distancing the supplier of funds from the lending transaction, the industry's conduct went from bad to worse. Much of its volume a few years back came from buyers who shouldn't have bought, financed by lenders who shouldn't have lent. The consequence has been huge numbers of repossessions and pitifully low recoveries on the units repossessed.

Oakwood participated fully in the insanity. But Clayton, though it could not isolate itself from industry practices, behaved considerably better than its major competitors.

Upon receiving Jim Clayton's book, I told the students how much I admired his record and they took that message back to Knoxville, home of both the University of Tennessee and Clayton Homes. Al then suggested that I call Kevin Clayton, Jim's son and the CEO, to express my views directly. As I talked with Kevin, it became clear that he was both able and a straight-shooter.

Soon thereafter, I made an offer for the business based solely on Jim's book, my evaluation of Kevin, the public financials of Clayton and what I had learned from the Oakwood experience. Clayton's board was receptive, since it understood that the large-scale financing Clayton would need in the future might be hard to get. Lenders had fled the industry and securitizations, when possible at all, carried far

more expensive and restrictive terms than was previously the case. This tightening was particularly serious for Clayton, whose earnings significantly depended on securitizations.

Today, the manufactured housing industry remains awash in problems. Delinquencies continue high, repossessed units still abound and the number of retailers has been halved. A different business model is required, one that eliminates the ability of the retailer and salesman to pocket substantial money up front by making sales financed by loans that are destined to default. Such transactions cause hardship to both buyer and lender and lead to a flood of repossessions that then undercut the sale of new units. Under a proper model – one requiring significant down payments and shorter-term loans – the industry will likely remain much smaller than it was in the 90s. But it will deliver to home buyers an asset in which they will have equity, rather than disappointment, upon resale.

In the "full circle" department, Clayton has agreed to buy the assets of Oakwood. When the transaction closes, Clayton's manufacturing capacity, geographical reach and sales outlets will be substantially increased. As a byproduct, the debt of Oakwood that we own, which we bought at a deep discount, will probably return a small profit to us.

And the students? In October, we had a surprise "graduation" ceremony in Knoxville for the 40 who sparked my interest in Clayton. I donned a mortarboard and presented each student with both a PhD (for phenomenal, hard-working dealmaker) from Berkshire and a B share. Al got an A share. If you meet some of the new Tennessee shareholders at our annual meeting, give them your thanks. And ask them if they've read any good books lately.

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In early spring, Byron Trott, a Managing Director of Goldman Sachs, told me that Wal-Mart wished to sell its McLane subsidiary. McLane distributes groceries and nonfood items to convenience stores, drug stores, wholesale clubs, mass merchandisers, quick service restaurants, theaters and others. It's a good business, but one not in the mainstream of Wal-Mart's future. It's made to order, however, for us.

McLane has sales of about $23 billion, but operates on paper-thin margins – about 1% pre-tax – and will swell Berkshire's sales figures far more than our income. In the past, some retailers had shunned McLane because it was owned by their major competitor. Grady Rosier, McLane's superb CEO, has already landed some of these accounts – he was in full stride the day the deal closed – and more will come.

For several years, I have given my vote to Wal-Mart in the balloting for Fortune Magazine's "Most Admired" list. Our McLane transaction reinforced my opinion. To make the McLane deal, I had a single meeting of about two hours with Tom Schoewe, Wal-Mart's CFO, and we then shook hands. (He did, however, first call Bentonville). Twenty-nine days later Wal-Mart had its money. We did no "due diligence." We knew everything would be exactly as Wal-Mart said it would be – and it was.

I should add that Byron has now been instrumental in three Berkshire acquisitions. He understands Berkshire far better than any investment banker with whom we have talked and – it hurts me to say this – earns his fee. I'm looking forward to deal number four (as, I am sure, is he).

Taxes

On May 20, 2003, The Washington Post ran an op-ed piece by me that was critical of the Bush tax proposals. Thirteen days later, Pamela Olson, Assistant Secretary for Tax Policy at the U.S. Treasury, delivered a speech about the new tax legislation saying, "That means a certain midwestern oracle, who, it must be noted, has played the tax code like a fiddle, is still safe retaining all his earnings." I think she was talking about me.

Alas, my "fiddle playing" will not get me to Carnegie Hall – or even to a high school recital. Berkshire, on your behalf and mine, will send the Treasury $3.3 billion for tax on its 2003 income, a sum equaling 2½% of the total income tax paid by *all* U.S. corporations in fiscal 2003. (In contrast, Berkshire's market valuation is about 1% of the value of all American corporations.) Our payment will almost

certainly place us among our country's top ten taxpayers. Indeed, if only 540 taxpayers paid the amount Berkshire will pay, no other individual or corporation would have to pay *anything* to Uncle Sam. That's right: 290 million Americans and all other businesses would not have to pay a dime in income, social security, excise or estate taxes to the federal government. (Here's the math: Federal tax receipts, including social security receipts, in fiscal 2003 totaled $1.782 trillion and 540 "Berkshires," each paying $3.3 billion, would deliver the same $1.782 trillion.)

Our federal tax return for 2002 (2003 is not finalized), when we paid $1.75 billion, covered a mere 8,905 pages. As is required, we dutifully filed two copies of this return, creating a pile of paper seven feet tall. At World Headquarters, our small band of 15.8, though exhausted, momentarily flushed with pride: Berkshire, we felt, was surely pulling its share of our country's fiscal load.

But Ms. Olson sees things otherwise. And if that means Charlie and I need to try harder, we are ready to do so.

I do wish, however, that Ms. Olson would give me *some* credit for the progress I've already made. In 1944, I filed my first 1040, reporting my income as a thirteen-year-old newspaper carrier. The return covered three pages. After I claimed the appropriate business deductions, such as $35 for a bicycle, my tax bill was $7. I sent my check to the Treasury and it – without comment – promptly cashed it. We lived in peace.

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I can understand why the Treasury is now frustrated with Corporate America and prone to outbursts. But it should look to Congress and the Administration for redress, not to Berkshire.

Corporate income taxes in fiscal 2003 accounted for 7.4% of all federal tax receipts, down from a post-war peak of 32% in 1952. With one exception (1983), last year's percentage is the lowest recorded since data was first published in 1934.

Even so, tax breaks for corporations (and their investors, particularly large ones) were a major part of the Administration's 2002 and 2003 initiatives. If class warfare is being waged in America, my class is clearly winning. Today, many large corporations – run by CEOs whose fiddle-playing talents make your Chairman look like he is all thumbs – pay nothing close to the stated federal tax rate of 35%.

In 1985, Berkshire paid $132 million in federal income taxes, and all corporations paid $61 billion. The comparable amounts in 1995 were $286 million and $157 billion respectively. And, as mentioned, we will pay about $3.3 billion for 2003, a year when all corporations paid $132 billion. We hope our taxes continue to rise in the future – it will mean we are prospering – but we also hope that the rest of Corporate America antes up along with us. This might be a project for Ms. Olson to work on.

Corporate Governance

In judging whether Corporate America is serious about reforming itself, CEO pay remains the acid test. To date, the results aren't encouraging. A few CEOs, such as Jeff Immelt of General Electric, have led the way in initiating programs that are fair to managers and shareholders alike. Generally, however, his example has been more admired than followed.

It's understandable how pay got out of hand. When management hires employees, or when companies bargain with a vendor, the intensity of interest is equal on both sides of the table. One party's gain is the other party's loss, and the money involved has real meaning to both. The result is an honest-to-God negotiation.

But when CEOs (or their representatives) have met with compensation committees, too often one side – the CEO's – has cared far more than the other about what bargain is struck. A CEO, for example, will always regard the difference between receiving options for 100,000 shares or for 500,000 as monumental. To a comp committee, however, the difference may seem unimportant – particularly if, as

has been the case at most companies, neither grant will have any effect on reported earnings. Under these conditions, the negotiation often has a "play-money" quality.

Overreaching by CEOs greatly accelerated in the 1990s as compensation packages gained by the most avaricious– a title for which there was vigorous competition – were promptly replicated elsewhere. The couriers for this epidemic of greed were usually consultants and human relations departments, which had no trouble perceiving who buttered their bread. As one compensation consultant commented: "There are two classes of clients you don't want to offend – actual and potential."

In proposals for reforming this malfunctioning system, the cry has been for "independent" directors. But the question of what truly motivates independence has largely been neglected.

In last year's report, I took a look at how "independent" directors – as defined by statute – had performed in the mutual fund field. The Investment Company Act of 1940 mandated such directors, and that means we've had an extended test of what statutory standards produce. In our examination last year, we looked at the record of fund directors in respect to the two key tasks board members should perform – whether at a mutual fund business or any other. These two all-important functions are, first, to obtain (or retain) an able and honest manager and then to compensate that manager fairly.

Our survey was not encouraging. Year after year, at literally thousands of funds, directors had routinely rehired the incumbent management company, however pathetic its performance had been. Just as routinely, the directors had mindlessly approved fees that in many cases far exceeded those that could have been negotiated. Then, when a management company was sold – invariably at a huge price relative to tangible assets – the directors experienced a "counter-revelation" and immediately signed on with the new manager and accepted its fee schedule. In effect, the directors decided that whoever would pay the most for the old management company was the party that should manage the shareholders' money in the future.

Despite the lapdog behavior of independent fund directors, we did not conclude that they are bad people. They're not. But sadly, "boardroom atmosphere" almost invariably sedates their fiduciary genes.

On May 22, 2003, not long after Berkshire's report appeared, the Chairman of the Investment Company Institute addressed its membership about "The State of our Industry." Responding to those who have "weighed in about our perceived failings," he mused, "It makes me wonder what life would be like if we'd actually done something wrong."

Be careful what you wish for.

Within a few months, the world began to learn that many fund-management companies had followed policies that hurt the owners of the funds they managed, while simultaneously boosting the fees of the managers. Prior to their transgressions, it should be noted, these management companies were earning profit margins and returns on tangible equity that were the envy of Corporate America. Yet to swell profits further, they trampled on the interests of fund shareholders in an appalling manner.

So what are the directors of these looted funds doing? As I write this, I have seen none that have terminated the contract of the offending management company (though naturally that entity has often fired some of its employees). Can you imagine directors who had been personally defrauded taking such a boys-will-be-boys attitude?

To top it all off, at least one miscreant management company has put itself up for sale, undoubtedly hoping to receive a huge sum for "delivering" the mutual funds it has managed to the highest bidder among other managers. This is a travesty. Why in the world don't the directors of those funds simply select whomever they think is best among the bidding organizations and sign up with that party directly? The winner would consequently be spared a huge "payoff" to the former manager who, having flouted the principles of stewardship, deserves not a dime. Not having to bear that acquisition cost, the winner could surely manage the funds in question for a far lower ongoing fee than would otherwise have been the case. Any truly independent director should insist on this approach to obtaining a new manager.

The reality is that neither the decades-old rules regulating investment company directors nor the new rules bearing down on Corporate America foster the election of truly independent directors. In both instances, an individual who is receiving 100% of his income from director fees – and who may wish to enhance his income through election to other boards – is deemed independent. That is nonsense. The same rules say that Berkshire director and lawyer Ron Olson, who receives from us perhaps 3% of his very large income, does not qualify as independent because that 3% comes from legal fees Berkshire pays his firm rather than from fees he earns as a Berkshire director. Rest assured, 3% from any source would not torpedo Ron's independence. But getting 20%, 30% or 50% of their income from director fees might well temper the independence of many individuals, particularly if their overall income is not large. Indeed, I think it's clear that at mutual funds, it has.

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Let me make a small suggestion to "independent" mutual fund directors. Why not simply affirm in each annual report that "(1) We have looked at other management companies and believe the one we have retained for the upcoming year is among the better operations in the field; and (2) we have negotiated a fee with our managers comparable to what other clients with equivalent funds would negotiate."

It does not seem unreasonable for shareholders to expect fund directors – who are often receiving fees that exceed $100,000 annually – to declare themselves on these points. Certainly these directors would satisfy themselves on both matters were they handing over a large chunk of their own money to the manager. If directors are unwilling to make these two declarations, shareholders should heed the maxim "If you don't know whose side someone is on, he's probably not on yours."

Finally, a disclaimer. A great many funds have been run well and conscientiously despite the opportunities for malfeasance that exist. The shareholders of these funds have benefited, and their managers have earned their pay. Indeed, if I were a director of certain funds, including some that charge above-average fees, I would enthusiastically make the two declarations I have suggested. Additionally, those index funds that are very low-cost (such as Vanguard's) are investor-friendly by definition and are the best selection for most of those who wish to own equities.

I am on my soapbox now only because the blatant wrongdoing that has occurred has betrayed the trust of so many millions of shareholders. Hundreds of industry insiders had to know what was going on, yet none publicly said a word. It took Eliot Spitzer, and the whistleblowers who aided him, to initiate a housecleaning. We urge fund directors to continue the job. Like directors throughout Corporate America, these fiduciaries must now decide whether their job is to work for owners or for managers.

Berkshire Governance

True independence – meaning the willingness to challenge a forceful CEO when something is wrong or foolish – is an enormously valuable trait in a director. It is also rare. The place to look for it is among high-grade people whose interests are in line with those of rank-and-file shareholders – *and are in line in a very big way*.

We've made that search at Berkshire. We now have eleven directors and *each* of them, combined with members of their families, owns more than $4 million of Berkshire stock. Moreover, all have held major stakes in Berkshire for many years. In the case of six of the eleven, family ownership amounts to at least hundreds of millions and dates back at least three decades. All eleven directors purchased their holdings in the market just as you did; we've never passed out options or restricted shares. Charlie and I love such honest-to-God ownership. After all, who ever washes a rental car?

In addition, director fees at Berkshire are nominal (as my son, Howard, periodically reminds me). Thus, the upside from Berkshire for all eleven is proportionately the same as the upside for any Berkshire shareholder. And it always will be.

The downside for Berkshire directors is actually worse than yours because we carry *no* directors and officers liability insurance. Therefore, if something really catastrophic happens on our directors' watch, they are exposed to losses that will far exceed yours.

The bottom line for our directors: You win, they win big; you lose, they lose big. Our approach might be called owner-capitalism. We know of no better way to engender true independence. (This structure does not guarantee perfect behavior, however: I've sat on boards of companies in which Berkshire had huge stakes and remained silent as questionable proposals were rubber-stamped.)

In addition to being independent, directors should have business savvy, a shareholder orientation and a genuine interest in the company. The rarest of these qualities is business savvy – and if it is lacking, the other two are of little help. Many people who are smart, articulate and admired have no real understanding of business. That's no sin; they may shine elsewhere. But they don't belong on corporate boards. Similarly, I would be useless on a medical or scientific board (though I would likely be welcomed by a chairman who wanted to run things his way). My name would dress up the list of directors, but I wouldn't know enough to critically evaluate proposals. Moreover, to cloak my ignorance, I would keep my mouth shut (if you can imagine that). In effect, I could be replaced, without loss, by a potted plant.

Last year, as we moved to change our board, I asked for self-nominations from shareholders who believed they had the requisite qualities to be a Berkshire director. Despite the lack of either liability insurance or meaningful compensation, we received more than twenty applications. Most were good, coming from owner-oriented individuals having family holdings of Berkshire worth well over $1 million. After considering them, Charlie and I – with the concurrence of our incumbent directors – asked four shareholders who did not nominate themselves to join the board: David Gottesman, Charlotte Guyman, Don Keough and Tom Murphy. These four people are all friends of mine, and I know their strengths well. They bring an extraordinary amount of business talent to Berkshire's board.

The primary job of our directors is to select my successor, either upon my death or disability, or when I begin to lose my marbles. (David Ogilvy had it right when he said: "Develop your eccentricities when young. That way, when you get older, people won't think you are going gaga." Charlie's family and mine feel that we overreacted to David's advice.)

At our directors' meetings we cover the usual run of housekeeping matters. But the real discussion – both with me in the room and absent – centers on the strengths and weaknesses of the four internal candidates to replace me.

Our board knows that the ultimate scorecard on its performance will be determined by the record of my successor. He or she will need to maintain Berkshire's culture, allocate capital and keep a group of America's best managers happy in their jobs. This isn't the toughest task in the world – the train is already moving at a good clip down the track – and I'm totally comfortable about it being done well by any of the four candidates we have identified. I have more than 99% of my net worth in Berkshire and will be happy to have my wife or foundation (depending on the order in which she and I die) continue this concentration.

Sector Results

As managers, Charlie and I want to give our owners the financial information and commentary we would wish to receive if our roles were reversed. To do this with both clarity and reasonable brevity becomes more difficult as Berkshire's scope widens. Some of our businesses have vastly different economic characteristics from others, which means that our consolidated statements, with their jumble of figures, make useful analysis almost impossible.

On the following pages, therefore, we will present some balance sheet and earnings figures from our four major categories of businesses along with commentary about each. We particularly want you to understand the limited circumstances under which we will use debt, since typically we shun it. We will not, however, inundate you with data that has no real value in calculating Berkshire's intrinsic value. Doing so would likely obfuscate the most important facts. One warning: When analyzing Berkshire, be

sure to remember that the company should be viewed as an unfolding movie, not as a still photograph. Those who focused in the past on only the snapshot of the day sometimes reached erroneous conclusions.

Insurance

Let's start with insurance – since that's where the money is.

The fountain of funds we enjoy in our insurance operations comes from "float," which is money that doesn't belong to us but that we temporarily hold. Most of our float arises because (1) premiums are paid upfront though the service we provide – insurance protection – is delivered over a period that usually covers a year and; (2) loss events that occur today do not always result in our immediately paying claims, since it sometimes takes years for losses to be reported (think asbestos), negotiated and settled.

Float is wonderful – *if* it doesn't come at a high price. The cost of float is determined by underwriting results, meaning how losses and expenses paid compare with premiums received. The property-casualty industry as a whole regularly operates at a substantial underwriting loss, and therefore often has a cost of float that is unattractive.

Overall, our results have been good. True, we've had five terrible years in which float cost us more than 10%. But in 18 of the 37 years Berkshire has been in the insurance business, we have operated at an underwriting profit, meaning we were actually *paid* for holding money. And the quantity of this cheap money has grown far beyond what I dreamed it could when we entered the business in 1967.

	Yearend Float (in $ millions)				
Year	*GEICO*	*General Re*	*Other Reinsurance*	*Other Primary*	*Total*
1967				20	20
1977			40	131	171
1987			701	807	1,508
1997	2,917		4,014	455	7,386
1998	3,125	14,909	4,305	415	22,754
1999	3,444	15,166	6,285	403	25,298
2000	3,943	15,525	7,805	598	27,871
2001	4,251	19,310	11,262	685	35,508
2002	4,678	22,207	13,396	943	41,224
2003	5,287	23,654	13,948	1,331	44,220

Last year was a standout. Float reached record levels and it came without cost as all major segments contributed to Berkshire's $1.7 billion pre-tax underwriting profit.

Our results have been exceptional for one reason: We have truly exceptional managers. Insurers sell a non-proprietary piece of paper containing a non-proprietary promise. Anyone can copy anyone else's product. No installed base, key patents, critical real estate or natural resource position protects an insurer's competitive position. Typically, brands do not mean much either.

The critical variables, therefore, are managerial brains, discipline and integrity. Our managers have all of these attributes – in spades. Let's take a look at these all-stars and their operations.

- General Re had been Berkshire's problem child in the years following our acquisition of it in 1998. Unfortunately, it was a 400-pound child, and its negative impact on our overall performance was large.

  That's behind us: Gen Re is fixed. Thank Joe Brandon, its CEO, and his partner, Tad Montross, for that. When I wrote you last year, I thought that discipline had been restored to both underwriting and reserving, and events during 2003 solidified my view.

That does not mean we will never have setbacks. Reinsurance is a business that is certain to deliver blows from time to time. But, under Joe and Tad, this operation will be a powerful engine driving Berkshire's future profitability.

Gen Re's financial strength, unmatched among reinsurers even as we started 2003, further improved during the year. Many of the company's competitors suffered credit downgrades last year, leaving Gen Re, and its sister operation at National Indemnity, as the only AAA-rated companies among the world's major reinsurers.

When insurers purchase reinsurance, they buy only a promise – one whose validity may not be tested for decades – and there are no promises in the reinsurance world equaling those offered by Gen Re and National Indemnity. Furthermore, unlike most reinsurers, we retain virtually all of the risks we assume. Therefore, our ability to pay is not dependent on the ability or willingness of others to reimburse us. This *independent* financial strength could be enormously important when the industry experiences the mega-catastrophe it surely will.

- Regular readers of our annual reports know of Ajit Jain's incredible contributions to Berkshire's prosperity over the past 18 years. He continued to pour it on in 2003. With a staff of only 23, Ajit runs one of the world's largest reinsurance operations, specializing in mammoth and unusual risks.

  Often, these involve assuming catastrophe risks – say, the threat of a large California earthquake – of a size far greater than any other reinsurer will accept. This means Ajit's results (and Berkshire's) will be lumpy. You should, therefore, expect his operation to have an occasional horrible year. Over time, however, you can be confident of a terrific result from this one-of-a-kind manager.

  Ajit writes some very unusual policies. Last year, for example, PepsiCo promoted a drawing that offered participants a chance to win a $1 billion prize. Understandably, Pepsi wished to lay off this risk, and we were the logical party to assume it. So we wrote a $1 billion policy, retaining the risk entirely for our own account. Because the prize, if won, was payable over time, our exposure in present-value terms was $250 million. (I helpfully suggested that any winner be paid $1 a year for a billion years, but that proposal didn't fly.) The drawing was held on September 14. Ajit and I held our breath, as did the finalist in the contest, and we left happier than he. PepsiCo has renewed for a repeat contest in 2004.

- GEICO was a fine insurance company when Tony Nicely took over as CEO in 1992. Now it is a great one. During his tenure, premium volume has increased from $2.2 billion to $8.1 billion, and our share of the personal-auto market has grown from 2.1% to 5.0%. More important, GEICO has paired these gains with outstanding underwriting performance.

  (We now pause for a commercial)

  It's been 67 years since Leo Goodwin created a great business idea at GEICO, one designed to save policyholders significant money. Go to Geico.com or call 1-800-847-7536 to see what we can do for you.

  (End of commercial)

  In 2003, both the number of inquiries coming into GEICO and its closure rate on these increased significantly. As a result our preferred policyholder count grew 8.2%, and our standard and non-standard policies grew 21.4%.

  GEICO's business growth creates a never-ending need for more employees and facilities. Our most recent expansion, announced in December, is a customer service center in – I'm delighted to say – Buffalo. Stan Lipsey, the publisher of our Buffalo News, was instrumental in bringing the city and GEICO together.

The key figure in this matter, however, was Governor George Pataki. His leadership and tenacity are why Buffalo will have 2,500 new jobs when our expansion is fully rolled out. Stan, Tony, and I – along with Buffalo – thank him for his help.

- Berkshire's smaller insurers had another terrific year. This group, run by Rod Eldred, John Kizer, Tom Nerney, Don Towle and Don Wurster, increased its float by 41%, while delivering an excellent underwriting profit. These men, though operating in unexciting ways, produce truly exciting results.

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We should point out again that in any given year a company writing long-tail insurance (coverages giving rise to claims that are often settled many years after the loss-causing event takes place) can report almost any earnings that the CEO desires. Too often the industry has reported wildly inaccurate figures by misstating liabilities. Most of the mistakes have been innocent. Sometimes, however, they have been intentional, their object being to fool investors and regulators. Auditors and actuaries have usually failed to prevent both varieties of misstatement.

I have failed on occasion too, particularly in not spotting Gen Re's unwitting underreserving a few years back. Not only did that mean we reported inaccurate figures to you, but the error also resulted in our paying very substantial taxes earlier than was necessary. Aaarrrggghh. I told you last year, however, that I thought our current reserving was at appropriate levels. So far, that judgment is holding up.

Here are Berkshire's pre-tax underwriting results by segment:

	Gain (Loss) in $ millions	
	2003	*2002*
Gen Re	$ 145	$(1,393)
Ajit's business excluding retroactive contracts	1,434	980
Ajit's retroactive contracts*	(387)	(433)
GEICO	452	416
Other Primary	74	32
Total	$1,718	$ (398)

*These contracts were explained on page 10 of the 2002 annual report, available on the Internet at www.berkshirehathaway.com. In brief, this segment consists of a few jumbo policies that are likely to produce underwriting losses (which are capped) but also provide unusually large amounts of float.

Regulated Utility Businesses

Through MidAmerican Energy Holdings, we own an 80.5% (fully diluted) interest in a wide variety of utility operations. The largest are (1) Yorkshire Electricity and Northern Electric, whose 3.7 million electric customers make it the third largest distributor of electricity in the U.K.; (2) MidAmerican Energy, which serves 689,000 electric customers in Iowa and; (3) Kern River and Northern Natural pipelines, which carry 7.8% of the natural gas transported in the United States.

Berkshire has three partners, who own the remaining 19.5%: Dave Sokol and Greg Abel, the brilliant managers of the business, and Walter Scott, a long-time friend of mine who introduced me to the company. Because MidAmerican is subject to the Public Utility Holding Company Act ("PUHCA"), Berkshire's voting interest is limited to 9.9%. Walter has the controlling vote.

Our limited voting interest forces us to account for MidAmerican in our financial statements in an abbreviated manner. Instead of our fully including its assets, liabilities, revenues and expenses in our statements, we record only a one-line entry in both our balance sheet and income account. It's likely that

some day, perhaps soon, either PUHCA will be repealed or accounting rules will change. Berkshire's consolidated figures would then take in all of MidAmerican, including the substantial debt it utilizes.

The size of this debt (which is not now, nor will it be, an obligation of Berkshire) is entirely appropriate. MidAmerican's diverse and stable utility operations assure that, even under harsh economic conditions, aggregate earnings will be ample to very comfortably service all debt.

At yearend, $1.578 billion of MidAmerican's most junior debt was payable to Berkshire. This debt has allowed acquisitions to be financed without our three partners needing to increase their already substantial investments in MidAmerican. By charging 11% interest, Berkshire is compensated fairly for putting up the funds needed for purchases, while our partners are spared dilution of their equity interests.

MidAmerican also owns a significant non-utility business, Home Services of America, the second largest real estate broker in the country. Unlike our utility operations, this business is highly cyclical, but nevertheless one we view enthusiastically. We have an exceptional manager, Ron Peltier, who, through both his acquisition and operational skills, is building a brokerage powerhouse.

Last year, Home Services participated in $48.6 billion of transactions, a gain of $11.7 billion from 2002. About 23% of the increase came from four acquisitions made during the year. Through our 16 brokerage firms – all of which retain their local identities – we employ 16,343 brokers in 16 states. Home Services is almost certain to grow substantially in the next decade as we continue to acquire leading localized operations.

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Here's a tidbit for fans of free enterprise. On March 31, 1990, the day electric utilities in the U.K. were denationalized, Northern and Yorkshire had 6,800 employees in functions these companies continue today to perform. Now they employ 2,539. Yet the companies are serving about the same number of customers as when they were government owned and are distributing more electricity.

This is not, it should be noted, a triumph of deregulation. Prices and earnings continue to be regulated in a fair manner by the government, just as they should be. It is a victory, however, for those who believe that profit-motivated managers, even though they recognize that the benefits will largely flow to customers, will find efficiencies that government never will.

Here are some key figures on MidAmerican's operations:

	Earnings (in $ millions)	
	2003	*2002*
U.K. Utilities	$ 289	$ 267
Iowa	269	241
Pipelines	261	104
Home Services	113	70
Other (Net)	144	108
Earnings before corporate interest and tax	1,076	790
Corporate Interest, other than to Berkshire	(225)	(192)
Interest Payments to Berkshire	(184)	(118)
Tax	(251)	(100)
Net Earnings	$ 416	$ 380
Earnings Applicable to Berkshire*	$ 429	$ 359
Debt Owed to Others	10,296	10,286
Debt Owed to Berkshire	1,578	1,728

*Includes interest paid to Berkshire (net of related income taxes) of $118 in 2003 and $75 in 2002.

Finance and Financial Products

This sector includes a wide-ranging group of activities. Here's some commentary on the most important.

- I manage a few opportunistic strategies in AAA fixed-income securities that have been quite profitable in the last few years. These opportunities come and go – and at present, they are going. We sped their departure somewhat last year, thereby realizing 24% of the capital gains we show in the table that follows.

  Though far from foolproof, these transactions involve no credit risk and are conducted in exceptionally liquid securities. We therefore finance the positions almost entirely with borrowed money. As the assets are reduced, so also are the borrowings. The smaller portfolio we now have means that in the near future our earnings in this category will decline significantly. It was fun while it lasted, and at some point we'll get another turn at bat.

- A far less pleasant unwinding operation is taking place at Gen Re Securities, the trading and derivatives operation we inherited when we purchased General Reinsurance.

  When we began to liquidate Gen Re Securities in early 2002, it had 23,218 outstanding tickets with 884 counterparties (some having names I couldn't pronounce, much less creditworthiness I could evaluate). Since then, the unit's managers have been skillful and diligent in unwinding positions. Yet, at yearend – nearly two years later – we still had 7,580 tickets outstanding with 453 counterparties. (As the country song laments, "How can I miss you if you won't go away?")

  The shrinking of this business has been costly. We've had pre-tax losses of $173 million in 2002 and $99 million in 2003. These losses, it should be noted, came from a portfolio of contracts that – in full compliance with GAAP – had been regularly marked-to-market with standard allowances for future credit-loss and administrative costs. Moreover, our liquidation has taken place both in a benign market – we've had no credit losses of significance – and in an orderly manner. This is just the opposite of what might be expected if a financial crisis forced a number of derivatives dealers to cease operations simultaneously.

  If our derivatives experience – and the Freddie Mac shenanigans of mind-blowing size and audacity that were revealed last year – makes you suspicious of accounting in this arena, consider yourself wised up. No matter how financially sophisticated you are, you can't possibly learn from reading the disclosure documents of a derivatives-intensive company what risks lurk in its positions. Indeed, the more you know about derivatives, the less you will feel you can learn from the disclosures normally proffered you. In Darwin's words, "Ignorance more frequently begets confidence than does knowledge."

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  And now it's confession time: I'm sure I could have saved you $100 million or so, pre-tax, if I had acted more promptly to shut down Gen Re Securities. Both Charlie and I knew at the time of the General Reinsurance merger that its derivatives business was unattractive. Reported profits struck us as illusory, and we felt that the business carried sizable risks that could not effectively be measured or limited. Moreover, we knew that any major problems the operation might experience would likely correlate with troubles in the financial or insurance world that would affect Berkshire elsewhere. In other words, if the derivatives business were ever to need shoring up, it would commandeer the capital and credit of Berkshire at just the time we could otherwise deploy those resources to huge advantage. (A historical note: We had just such an experience in 1974 when we were the victim of a major insurance fraud. We could not determine for some time how much the fraud would ultimately cost us and therefore kept more funds in cash-equivalents than we normally would have.

Absent this precaution, we would have made larger purchases of stocks that were then extraordinarily cheap.)

Charlie would have moved swiftly to close down Gen Re Securities – no question about that. I, however, dithered. As a consequence, our shareholders are paying a far higher price than was necessary to exit this business.

- Though we include Gen Re's sizable life and health reinsurance business in the "insurance" sector, we show the results for Ajit Jain's life and annuity business in this section. That's because this business, in large part, involves arbitraging money. Our annuities range from a retail product sold directly on the Internet to structured settlements that require us to make payments for 70 years or more to people severely injured in accidents.

  We've realized some extra income in this business because of accelerated principal payments we received from certain fixed-income securities we had purchased at discounts. This phenomenon has ended, and earnings are therefore likely to be lower in this segment during the next few years.

- We have a $604 million investment in Value Capital, a partnership run by Mark Byrne, a member of a family that has helped Berkshire over the years in many ways. Berkshire is a limited partner in, and has no say in the management of, Mark's enterprise, which specializes in highly-hedged fixed-income opportunities. Mark is smart and honest and, along with his family, has a significant investment in Value.

  Because of accounting abuses at Enron and elsewhere, rules will soon be instituted that are likely to require that Value's assets and liabilities be consolidated on Berkshire's balance sheet. We regard this requirement as inappropriate, given that Value's liabilities – which usually are above $20 billion – are in no way ours. Over time, other investors will join us as partners in Value. When enough do, the need for us to consolidate Value will disappear.

- We have told you in the past about Berkadia, the partnership we formed three years ago with Leucadia to finance and manage the wind-down of Finova, a bankrupt lending operation. The plan was that we would supply most of the capital and Leucadia would supply most of the brains. And that's the way it has worked. Indeed, Joe Steinberg and Ian Cumming, who together run Leucadia, have done such a fine job in liquidating Finova's portfolio that the $5.6 billion guarantee we took on in connection with the transaction has been extinguished. The unfortunate byproduct of this fast payoff is that our future income will be much reduced. Overall, Berkadia has made excellent money for us, and Joe and Ian have been terrific partners.

- Our leasing businesses are XTRA (transportation equipment) and CORT (office furniture). Both operations have had poor earnings during the past two years as the recession caused demand to drop considerably more than was anticipated. They remain leaders in their fields, and I expect at least a modest improvement in their earnings this year.

- Through our Clayton purchase, we acquired a significant manufactured-housing finance operation. Clayton, like others in this business, had traditionally securitized the loans it originated. The practice relieved stress on Clayton's balance sheet, but a by-product was the "front-ending" of income (a result dictated by GAAP).

  We are in no hurry to record income, have enormous balance-sheet strength, and believe that over the long-term the economics of holding our consumer paper are superior to what we can now realize through securitization. So Clayton has begun to retain its loans.

  We believe it's appropriate to finance a soundly-selected book of interest-bearing receivables almost entirely with debt (just as a bank would). Therefore, Berkshire will borrow money to finance Clayton's portfolio and re-lend these funds to Clayton at our cost plus one percentage

point. This markup fairly compensates Berkshire for putting its exceptional creditworthiness to work, but it still delivers money to Clayton at an attractive price.

In 2003, Berkshire did $2 billion of such borrowing and re-lending, with Clayton using much of this money to fund several large purchases of portfolios from lenders exiting the business. A portion of our loans to Clayton also provided "catch-up" funding for paper it had generated earlier in the year from its own operation and had found difficult to securitize.

You may wonder why we borrow money while sitting on a mountain of cash. It's because of our "every tub on its own bottom" philosophy. We believe that any subsidiary lending money should pay an appropriate rate for the funds needed to carry its receivables and should not be subsidized by its parent. Otherwise, having a rich daddy can lead to sloppy decisions. Meanwhile, the cash we accumulate at Berkshire is destined for business acquisitions or for the purchase of securities that offer opportunities for significant profit. Clayton's loan portfolio will likely grow to at least $5 billion in not too many years and, with sensible credit standards in place, should deliver significant earnings.

For simplicity's sake, we include all of Clayton's earnings in this sector, though a sizable portion is derived from areas other than consumer finance.

	(in $ millions)			
	Pre-Tax Earnings		*Interest-bearing Liabilities*	
	2003	*2002*	*2003*	*2002*
Trading – Ordinary Income	$ 379	$ 553	$7,826	$13,762
Gen Re Securities	(99)	(173)	8,041*	10,631*
Life and annuity operation	99	83	2,331	1,568
Value Capital	31	61	18,238*	20,359*
Berkadia	101	115	525	2,175
Leasing operations	34	34	482	503
Manufactured housing finance (Clayton)	37**	—	2,032	—
Other	84	102	618	630
Income before capital gains	666	775		
Trading – Capital Gains	1,215	578	N.A.	N.A.
Total	$1,881	$1,353		

* Includes all liabilities
** From date of acquisition, August 7, 2003

Manufacturing, Service and Retailing Operations

Our activities in this category cover the waterfront. But let's look at a simplified balance sheet and earnings statement consolidating the entire group.

Balance Sheet 12/31/03 (in $ millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 1,250	Notes payable	$ 1,593
Accounts and notes receivable	2,796	Other current liabilities	4,300
Inventory	3,656	Total current liabilities	5,893
Other current assets	262		
Total current assets	7,964		
Goodwill and other intangibles	8,351	Deferred taxes	105
Fixed assets	5,898	Term debt and other liabilities	1,890
Other assets	1,054	Equity	15,379
	$23,267		$23,267

Earnings Statement (in $ millions)

	2003	2002
Revenues	$32,106	$16,970
Operating expenses (including depreciation of $605 in 2003 and $477 in 2002)	29,885	14,921
Interest expense (net)	64	108
Pre-tax income	2,157	1,941
Income taxes	813	743
Net income	$ 1,344	$ 1,198

This eclectic group, which sells products ranging from Dilly Bars to B-737s, earned a hefty 20.7% on average tangible net worth last year. However, we purchased these businesses at substantial premiums to net worth – that fact is reflected in the goodwill item shown on the balance sheet – and that reduces the earnings on our average *carrying* value to 9.2%.

Here are the pre-tax earnings for the larger categories or units.

	Pre-Tax Earnings (in $ millions)	
	2003	2002
Building Products	$ 559	$ 516
Shaw Industries	436	424
Apparel	289	229
Retail Operations	224	219
Flight Services	72	225
McLane *	150	—
Other businesses	427	328
	$2,157	$1,941

* From date of acquisition, May 23, 2003.

- Three of our building-materials businesses – Acme Brick, Benjamin Moore and MiTek – had record operating earnings last year. And earnings at Johns Manville, the fourth, were trending upward at yearend. Collectively, these companies earned 21.0% on tangible net worth.

- Shaw Industries, the world's largest manufacturer of broadloom carpet, also had a record year. Led by Bob Shaw, who built this huge enterprise from a standing start, the company will likely set another earnings record in 2004. In November, Shaw acquired various carpet operations from Dixie Group, which should add about $240 million to sales this year, boosting Shaw's volume to nearly $5 billion.

- Within the apparel group, Fruit of the Loom is our largest operation. Fruit has three major assets: a 148-year-old universally-recognized brand, a low-cost manufacturing operation, and John Holland, its CEO. In 2003, Fruit accounted for 42.3% of the men's and boys' underwear that was sold by mass marketers (Wal-Mart, Target, K-Mart, etc.) and increased its share of the women's and girls' business in that channel to 13.9%, up from 11.3% in 2002.

- In retailing, our furniture group earned $106 million pre-tax, our jewelers $59 million and See's, which is both a manufacturer and retailer, $59 million.

  Both R.C. Willey and Nebraska Furniture Mart ("NFM") opened hugely successful stores last year, Willey in Las Vegas and NFM in Kansas City, Kansas. Indeed, we believe the Kansas City store is the country's largest-volume home-furnishings store. (Our Omaha operation, while located on a single plot of land, consists of three units.)

NFM was founded by Rose Blumkin ("Mrs. B") in 1937 with $500. She worked until she was 103 (hmmm . . . not a bad idea). One piece of wisdom she imparted to the generations following her was, "If you have the lowest price, customers will find you at the bottom of a river." Our store serving greater Kansas City, which is located in one of the area's more sparsely populated parts, has proved Mrs. B's point. Though we have more than 25 acres of parking, the lot has at times overflowed.

"Victory," President Kennedy told us after the Bay of Pigs disaster, "has a thousand fathers, but defeat is an orphan." At NFM, we knew we had a winner a month after the boffo opening in Kansas City, when our new store attracted an unexpected paternity claim. A speaker there, referring to the Blumkin family, asserted, "They had enough confidence and the policies of the Administration were working such that they were able to provide work for 1,000 of our fellow citizens." The proud papa at the podium? President George W. Bush.

- In flight services, FlightSafety, our training operation, experienced a drop in "normal" operating earnings from $183 million to $150 million. (The abnormals: In 2002 we had a $60 million pre-tax gain from the sale of a partnership interest to Boeing, and in 2003 we recognized a $37 million loss stemming from the premature obsolescence of simulators.) The corporate aviation business has slowed significantly in the past few years, and this fact has hurt FlightSafety's results. The company continues, however, to be far and away the leader in its field. Its simulators have an original cost of $1.2 billion, which is more than triple the cost of those operated by our closest competitor.

  NetJets, our fractional-ownership operation lost $41 million pre-tax in 2003. The company had a modest operating profit in the U.S., but this was more than offset by a $32 million loss on aircraft inventory and by continued losses in Europe.

  NetJets continues to dominate the fractional-ownership field, and its lead is increasing: Prospects overwhelmingly turn to us rather than to our three major competitors. Last year, among the four of us, we accounted for 70% of net sales (measured by value).

  An example of what sets NetJets apart from competitors is our Mayo Clinic Executive Travel Response program, a free benefit enjoyed by all of our owners. On land or in the air, anywhere in the world and at any hour of any day, our owners and their families have an immediate link to Mayo. Should an emergency occur while they are traveling here or abroad, Mayo will instantly direct them to an appropriate doctor or hospital. Any baseline data about the patient that Mayo possesses is simultaneously made available to the treating physician. Many owners have already found this service invaluable, including one who needed emergency brain surgery in Eastern Europe.

  The $32 million inventory write-down we took in 2003 occurred because of falling prices for used aircraft early in the year. Specifically, we bought back fractions from withdrawing owners at prevailing prices, and these fell in value before we were able to remarket them. Prices are now stable.

  The European loss is painful. But any company that forsakes Europe, as all of our competitors have done, is destined for second-tier status. Many of our U.S. owners fly extensively in Europe and want the safety and security assured by a NetJets plane and pilots. Despite a slow start, furthermore, we are now adding European customers at a good pace. During the years 2001 through 2003, we had gains of 88%, 61% and 77% in European management-and-flying revenues. We have not, however, yet succeeded in stemming the flow of red ink.

  Rich Santulli, NetJets' extraordinary CEO, and I expect our European loss to diminish in 2004 and also anticipate that it will be more than offset by U.S. profits. Overwhelmingly, our owners love the NetJets experience. Once a customer has tried us, going back to commercial aviation is like going back to holding hands. NetJets will become a very big business over time and will be one in which we are preeminent in both customer satisfaction and profits. Rich will see to that.

Investments

The table that follows shows our common stock investments. Those that had a market value of more than $500 million at the end of 2003 are itemized.

Shares	*Company*	*Percentage of Company Owned*	*12/31/03 Cost*	*Market*
			(in $ millions)	
151,610,700	American Express Company	11.8	$ 1,470	$ 7,312
200,000,000	The Coca-Cola Company	8.2	1,299	10,150
96,000,000	The Gillette Company	9.5	600	3,526
14,610,900	H&R Block, Inc.	8.2	227	809
15,476,500	HCA Inc.	3.1	492	665
6,708,760	M&T Bank Corporation	5.6	103	659
24,000,000	Moody's Corporation	16.1	499	1,453
2,338,961,000	PetroChina Company Limited	1.3	488	1,340
1,727,765	The Washington Post Company	18.1	11	1,367
56,448,380	Wells Fargo & Company	3.3	463	3,324
	Others		2,863	4,682
	Total Common Stocks		$ 8,515	$35,287

We bought some Wells Fargo shares last year. Otherwise, among our six largest holdings, we last changed our position in Coca-Cola in 1994, American Express in 1998, Gillette in 1989, Washington Post in 1973, and Moody's in 2000. Brokers don't love us.

We are neither enthusiastic nor negative about the portfolio we hold. We own pieces of excellent businesses – all of which had good gains in intrinsic value last year – but their current prices reflect their excellence. The unpleasant corollary to this conclusion is that I made a big mistake in not selling several of our larger holdings during The Great Bubble. If these stocks are fully priced now, you may wonder what I was thinking four years ago when their intrinsic value was lower and their prices far higher. So do I.

In 2002, junk bonds became very cheap, and we purchased about $8 billion of these. The pendulum swung quickly though, and this sector now looks decidedly unattractive to us. Yesterday's weeds are today being priced as flowers.

We've repeatedly emphasized that realized gains at Berkshire are meaningless for analytical purposes. We have a huge amount of unrealized gains on our books, and our thinking about when, and if, to cash them depends not at all on a desire to report earnings at one specific time or another. Nevertheless, to see the diversity of our investment activities, you may be interested in the following table, categorizing the gains we reported during 2003:

Category	*Pre-Tax Gain (in $ million)*
Common Stocks	$ 448
U.S. Government Bonds	1,485
Junk Bonds	1,138
Foreign Exchange Contracts	825
Other	233
	$4,129

The common stock profits occurred around the edges of our portfolio – not, as we already mentioned, from our selling down our major positions. The profits in governments arose from our

liquidation of long-term strips (the most volatile of government securities) and from certain strategies I follow within our finance and financial products division. We retained most of our junk portfolio, selling only a few issues. Calls and maturing bonds accounted for the rest of the gains in the junk category.

During 2002 we entered the foreign currency market for the first time in my life, and in 2003 we enlarged our position, as I became increasingly bearish on the dollar. I should note that the cemetery for seers has a huge section set aside for macro forecasters. We have in fact made few macro forecasts at Berkshire, and we have seldom seen others make them with sustained success.

We have – and will continue to have – the bulk of Berkshire's net worth in U.S. assets. But in recent years our country's trade deficit has been force-feeding huge amounts of claims on, and ownership in, America to the rest of the world. For a time, foreign appetite for these assets readily absorbed the supply. Late in 2002, however, the world started choking on this diet, and the dollar's value began to slide against major currencies. Even so, prevailing exchange rates will not lead to a material letup in our trade deficit. So whether foreign investors like it or not, they will continue to be flooded with dollars. The consequences of this are anybody's guess. They could, however, be troublesome – and reach, in fact, well beyond currency markets.

As an American, I hope there is a benign ending to this problem. I myself suggested one possible solution – which, incidentally, leaves Charlie cold – in a November 10, 2003 article in Fortune Magazine. Then again, perhaps the alarms I have raised will prove needless: Our country's dynamism and resiliency have repeatedly made fools of naysayers. But Berkshire holds many billions of cash-equivalents denominated in dollars. So I feel more comfortable owning foreign-exchange contracts that are at least a partial offset to that position.

These contracts are subject to accounting rules that require changes in their value to be contemporaneously included in capital gains or losses, even though the contracts have not been closed. We show these changes each quarter in the Finance and Financial Products segment of our earnings statement. At yearend, our open foreign exchange contracts totaled about $12 billion at market values and were spread among five currencies. Also, when we were purchasing junk bonds in 2002, we tried when possible to buy issues denominated in Euros. Today, we own about $1 billion of these.

When we can't find anything exciting in which to invest, our "default" position is U.S. Treasuries, both bills and repos. No matter how low the yields on these instruments go, we never "reach" for a little more income by dropping our credit standards or by extending maturities. Charlie and I detest taking even small risks unless we feel we are being adequately compensated for doing so. About as far as we will go down that path is to occasionally eat cottage cheese a day after the expiration date on the carton.

* * * * * * * * * * * *

A 2003 book that investors can learn much from is *Bull!* by Maggie Mahar. Two other books I'd recommend are *The Smartest Guys in the Room* by Bethany McLean and Peter Elkind, and *In an Uncertain World* by Bob Rubin. All three are well-reported and well-written. Additionally, Jason Zweig last year did a first-class job in revising *The Intelligent Investor*, my favorite book on investing.

Designated Gifts Program

From 1981 through 2002, Berkshire administered a program whereby shareholders could direct Berkshire to make gifts to their favorite charitable organizations. Over the years we disbursed $197 million pursuant to this program. Churches were the most frequently named designees, and many thousands of other organizations benefited as well. We were the only major public company that offered such a program to shareholders, and Charlie and I were proud of it.

We reluctantly terminated the program in 2003 because of controversy over the abortion issue. Over the years numerous organizations on both sides of this issue had been designated by our shareholders to receive contributions. As a result, we regularly received some objections to the gifts designated for pro-choice operations. A few of these came from people and organizations that proceeded to boycott products

of our subsidiaries. That did not concern us. We refused all requests to limit the right of our owners to make whatever gifts they chose (as long as the recipients had 501(c)(3) status).

In 2003, however, many *independent* associates of The Pampered Chef began to feel the boycotts. This development meant that people who trusted us – but who were neither employees of ours nor had a voice in Berkshire decision-making – suffered serious losses of income.

For our shareholders, there was some modest tax efficiency in Berkshire doing the giving rather than their making their gifts directly. Additionally, the program was consistent with our "partnership" approach, the first principle set forth in our Owner's Manual. But these advantages paled when they were measured against damage done loyal associates who had with great personal effort built businesses of their own. Indeed, Charlie and I see nothing charitable in harming decent, hard-working people just so we and other shareholders can gain some minor tax efficiencies.

Berkshire now makes no contributions at the parent company level. Our various subsidiaries follow philanthropic policies consistent with their practices prior to their acquisition by Berkshire, except that any personal contributions that former owners had earlier made from their corporate pocketbook are now funded by them personally.

The Annual Meeting

Last year, I asked you to vote as to whether you wished our annual meeting to be held on Saturday or Monday. I was hoping for Monday. Saturday won by 2 to 1. It will be a while before shareholder democracy resurfaces at Berkshire.

But you have spoken, and we will hold this year's annual meeting on Saturday, May 1 at the new Qwest Center in downtown Omaha. The Qwest offers us 194,000 square feet for exhibition by our subsidiaries (up from 65,000 square feet last year) and much more seating capacity as well. The Qwest's doors will open at 7 a.m., the movie will begin at 8:30, and the meeting itself will commence at 9:30. There will be a short break at noon for food. (Sandwiches will be available at the Qwest's concession stands.) That interlude aside, Charlie and I will answer questions until 3:30. We will tell you everything we know . . . and, at least in my case, more.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. They do a terrific job for us each year, and I thank them for it.

In our usual fashion, we will run vans from the larger hotels to the meeting. Afterwards, the vans will make trips back to the hotels and to Nebraska Furniture Mart, Borsheim's and the airport. Even so, you are likely to find a car useful.

Our exhibition of Berkshire goods and services will blow you away this year. On the floor, for example, will be a 1,600 square foot Clayton home (featuring Acme brick, Shaw carpet, Johns-Manville insulation, MiTek fasteners, Carefree awnings, and outfitted with NFM furniture). You'll find it a far cry from the mobile-home stereotype of a few decades ago.

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a special shareholder discount (usually 8%). This special offer is permitted by 41 of the 49 jurisdictions in which we operate. Bring the details of your existing insurance and check out whether we can save you money.

On Saturday, at the Omaha airport, we will have the usual array of aircraft from NetJets® available for your inspection. Stop by the NetJets booth at the Qwest to learn about viewing these planes. If you buy what we consider an appropriate number of items during the weekend, you may well need your own plane to take them home.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" pricing, which means we will be offering our shareholders a discount that is customarily given only to employees. We initiated this special pricing at NFM seven years ago, and sales during the "Weekend" grew from $5.3 million in 1997 to $17.3 million in 2003. Every year has set a new record.

To get the discount, you must make your purchases between Thursday, April 29 and Monday, May 3 inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but that, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m. to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m., we are having a special affair for shareholders only. I'll be there, eating barbeque and drinking Coke.

Borsheim's — the largest jewelry store in the country except for Tiffany's Manhattan store — will have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 10 p.m. on Friday, April 30. The second, the main gala, will be from 9 a.m. to 4 p.m. on Sunday, May 2. Ask Charlie to autograph your *sales ticket*.

Shareholder prices will be available Thursday through Monday, so if you wish to avoid the large crowds that will assemble on Friday evening and Sunday, come at other times and identify yourself as a shareholder. On Saturday, we will be open until 6 p.m. Borsheim's operates on a gross margin that is fully twenty percentage points below that of its major rivals, so the more you buy, the more you save – at least that's what my wife and daughter tell me. (Both were impressed early in life by the story of the boy who, after missing a street car, walked home and proudly announced that he had saved 5¢ by doing so. His father was irate: "Why didn't you miss a cab and save 85¢?")

In the mall outside of Borsheim's, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play with our shareholders on Sunday afternoon. Additionally, Patrick Wolff, twice U.S. chess champion, will be in the mall, taking on all comers — blindfolded! I've watched, and he doesn't peek.

Gorat's — my favorite steakhouse — will again be open exclusively for Berkshire shareholders on Sunday, May 2, and will be serving from 4 p.m. until 10 p.m. Please remember that to come to Gorat's on Sunday, you must have a reservation. To make one, call 402-551-3733 on April 1 (*but not before*). If Sunday is sold out, try Gorat's on one of the other evenings you will be in town. Flaunt your mastery of fine dining by ordering, as I do, a rare T-bone with a double order of hash browns.

We will have a special reception on Saturday afternoon from 4:00 to 5:00 for shareholders who come from outside of North America. Every year our meeting draws many people from around the globe, and Charlie and I want to be sure we personally meet those who have come so far. Any shareholder who comes from other than the U.S. or Canada will be given special credentials and instructions for attending this function.

Charlie and I have a great time at the annual meeting. And you will, too. So join us at the Qwest for our annual Woodstock for Capitalists.

Warren E. Buffett
February 27, 2004 Chairman of the Board

Note: The following table appears in the printed Annual Report on the facing page of the Chairman's Letter and is referred to in that letter.

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
2004	10.5	10.9	(.4)
Average Annual Gain — 1965-2004	21.9	10.4	11.5
Overall Gain — 1964-2004	286,865	5,318	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our gain in net worth during 2004 was $8.3 billion, which increased the per-share book value of both our Class A and Class B stock by 10.5%. Over the last 40 years (that is, since present management took over) book value has grown from $19 to $55,824, a rate of 21.9% compounded annually.*

It's per-share intrinsic value that counts, however, not book value. Here, the news is good: Between 1964 and 2004, Berkshire morphed from a struggling northern textile business whose intrinsic value was less than book into a diversified enterprise worth far more than book. Our 40-year gain in intrinsic value has therefore somewhat exceeded our 21.9% gain in book. (For an explanation of intrinsic value and the economic principles that guide Charlie Munger, my partner and Berkshire's vice-chairman, and me in running Berkshire, please read our Owner's Manual, beginning on page 73.)

Despite their shortcomings, yearly calculations of book value are useful at Berkshire as a slightly understated gauge for measuring the *long-term* rate of increase in our intrinsic value. The calculations are less relevant, however, than they once were in rating any single year's performance versus the S&P 500 index (a comparison we display on the facing page). Our equity holdings (including convertible preferreds) have fallen considerably as a percentage of our net worth, from an average of 114% in the 1980s, for example, to less than 50% in recent years. Therefore, yearly movements in the stock market now affect a much smaller portion of our net worth than was once the case, a fact that will normally cause us to underperform in years when stocks rise substantially and overperform in years when they fall.

However the yearly comparisons work out, Berkshire's long-term performance versus the S&P remains all-important. Our shareholders can buy the S&P through an index fund at very low cost. Unless we achieve gains in per-share intrinsic value in the future that outdo the S&P, Charlie and I will be adding nothing to what you can accomplish on your own.

Last year, Berkshire's book-value gain of 10.5% fell short of the index's 10.9% return. Our lackluster performance was not due to any stumbles by the CEOs of our operating businesses: As always, they pulled more than their share of the load. My message to them is simple: Run your business as if it were the only asset your family will own over the next hundred years. Almost invariably they do just that and, after taking care of the needs of their business, send excess cash to Omaha for me to deploy.

I didn't do that job very well last year. My hope was to make several multi-billion dollar acquisitions that would add new and significant streams of earnings to the many we already have. But I struck out. Additionally, I found very few attractive securities to buy. Berkshire therefore ended the year with $43 billion of cash equivalents, not a happy position. Charlie and I will work to translate some of this hoard into more interesting assets during 2005, though we can't promise success.

In one respect, 2004 was a remarkable year for the stock market, a fact buried in the maze of numbers on page 2. If you examine the 35 years since the 1960s ended, you will find that an investor's return, including dividends, from owning the S&P has averaged 11.2% annually (well above what we expect future returns to be). But if you look for years with returns anywhere close to that 11.2% – say, between 8% and 14% – you will find only *one* before 2004. In other words, last year's "normal" return is anything but.

*****All figures used in this report apply to Berkshire's A shares, the successor to the only stock that the company had outstanding before 1996. The B shares have an economic interest equal to 1/30th that of the A.

Over the 35 years, American business has delivered terrific results. It should therefore have been easy for investors to earn juicy returns: All they had to do was piggyback Corporate America in a diversified, low-expense way. An index fund that they never touched would have done the job. Instead many investors have had experiences ranging from mediocre to disastrous.

There have been three primary causes: first, high costs, usually because investors traded excessively or spent far too much on investment management; second, portfolio decisions based on tips and fads rather than on thoughtful, quantified evaluation of businesses; and third, a start-and-stop approach to the market marked by untimely entries (after an advance has been long underway) and exits (after periods of stagnation or decline). Investors should remember that excitement and expenses are their enemies. And if they insist on trying to time their participation in equities, they should try to be fearful when others are greedy and greedy only when others are fearful.

Sector Results

As managers, Charlie and I want to give our owners the financial information and commentary we would wish to receive if our roles were reversed. To do this with both clarity and reasonable brevity becomes more difficult as Berkshire's scope widens. Some of our businesses have vastly different economic characteristics from others, which means that our consolidated statements, with their jumble of figures, make useful analysis almost impossible.

On the following pages, therefore, we will present some balance sheet and earnings figures from our four major categories of businesses along with commentary about each. We particularly want you to understand the limited circumstances under which we will use debt, given that we typically shun it. We will not, however, inundate you with data that has no real value in estimating Berkshire's intrinsic value. Doing so would tend to obfuscate the facts that count.

Regulated Utility Businesses

We have an 80.5% (fully diluted) interest in MidAmerican Energy Holdings, which owns a wide variety of utility operations. The largest of these are (1) Yorkshire Electricity and Northern Electric, whose 3.7 million electric customers make it the third largest distributor of electricity in the U.K.; (2) MidAmerican Energy, which serves 698,000 electric customers, primarily in Iowa; and (3) Kern River and Northern Natural pipelines, which carry 7.9% of the natural gas consumed in the U.S.

The remaining 19.5% of MidAmerican is owned by three partners of ours: Dave Sokol and Greg Abel, the brilliant managers of these businesses, and Walter Scott, a long-time friend of mine who introduced me to the company. Because MidAmerican is subject to the Public Utility Holding Company Act ("PUHCA"), Berkshire's voting interest is limited to 9.9%. Voting control rests with Walter.

Our limited voting interest forces us to account for MidAmerican in an abbreviated manner. Instead of our fully incorporating the company's assets, liabilities, revenues and expenses into Berkshire's statements, we make one-line entries only in both our balance sheet and income account. It's likely, though, that PUHCA will someday – perhaps soon – be repealed or that accounting rules will change. Berkshire's consolidated figures would then incorporate all of MidAmerican, including the substantial debt it utilizes (though this debt is not now, nor will it ever be, an obligation of Berkshire).

At yearend, $1.478 billion of MidAmerican's junior debt was payable to Berkshire. This debt has allowed acquisitions to be financed without our partners needing to increase their already substantial investments in MidAmerican. By charging 11% interest, Berkshire is compensated fairly for putting up the funds needed for purchases, while our partners are spared dilution of their equity interests. Because MidAmerican made no large acquisitions last year, it paid down $100 million of what it owes us.

MidAmerican also owns a significant non-utility business, HomeServices of America, the second largest real estate broker in the country. Unlike our utility operations, this business is highly cyclical, but nevertheless one we view enthusiastically. We have an exceptional manager, Ron Peltier, who through both his acquisition and operational skills is building a brokerage powerhouse.

HomeServices participated in $59.8 billion of transactions in 2004, a gain of $11.2 billion from 2003. About 24% of the increase came from six acquisitions made during the year. Through our 17 brokerage firms – all of which retain their local identities – we employ more than 18,000 brokers in 18 states. HomeServices is almost certain to grow substantially in the next decade as we continue to acquire leading localized operations.

Last year MidAmerican wrote off a major investment in a zinc recovery project that was initiated in 1998 and became operational in 2002. Large quantities of zinc are present in the brine produced by our California geothermal operations, and we believed we could profitably extract the metal. For many months, it appeared that commercially-viable recoveries were imminent. But in mining, just as in oil exploration, prospects have a way of "teasing" their developers, and every time one problem was solved, another popped up. In September, we threw in the towel.

Our failure here illustrates the importance of a guideline – *stay with simple propositions* – that we usually apply in investments as well as operations. If only one variable is key to a decision, and the variable has a 90% chance of going your way, the chance for a successful outcome is obviously 90%. But if ten independent variables need to break favorably for a successful result, and each has a 90% probability of success, the likelihood of having a winner is only 35%. In our zinc venture, we solved most of the problems. But one proved intractable, and that was one too many. Since a chain is no stronger than its weakest link, it makes sense to look for – if you'll excuse an oxymoron – mono-linked chains.

A breakdown of MidAmerican's results follows. In 2004, the "other" category includes a $72.2 million profit from sale of an Enron receivable that was thrown in when we purchased Northern Natural two years earlier. Walter, Dave and I, as natives of Omaha, view this unanticipated gain as war reparations – partial compensation for the loss our city suffered in 1986 when Ken Lay moved Northern to Houston, after promising to leave the company here. (For details, see Berkshire's 2002 annual report.)

Here are some key figures on MidAmerican's operations:

	Earnings (in $ millions)	
	2004	*2003*
U.K. utilities	$ 326	$ 289
Iowa utility	268	269
Pipelines	288	261
HomeServices	130	113
Other (net)	172	190
Loss from zinc project	(579)	(46)
Earnings before corporate interest and taxes	605	1,076
Interest, other than to Berkshire	(212)	(225)
Interest on Berkshire junior debt	(170)	(184)
Income tax	(53)	(251)
Net earnings	$ 170	$ 416
Earnings applicable to Berkshire*	$ 237	$ 429
Debt owed to others	10,528	10,296
Debt owed to Berkshire	1,478	1,578

*Includes interest earned by Berkshire (net of related income taxes) of $110 in 2004 and $118 in 2003.

Insurance

Since Berkshire purchased National Indemnity ("NICO") in 1967, property-casualty insurance has been our core business and the propellant of our growth. Insurance has provided a fountain of funds with which we've acquired the securities and businesses that now give us an ever-widening variety of earnings streams. So in this section, I will be spending a little time telling you how we got where we are.

The source of our insurance funds is "float," which is money that doesn't belong to us but that we temporarily hold. Most of our float arises because (1) premiums are paid upfront though the service we provide – insurance protection – is delivered over a period that usually covers a year and; (2) loss events that occur today do not always result in our immediately paying claims, because it sometimes takes many years for losses to be reported (asbestos losses would be an example), negotiated and settled. The $20 million of float that came with our 1967 purchase has now increased – both by way of internal growth and acquisitions – to $46.1 billion.

Float is wonderful – *if* it doesn't come at a high price. Its cost is determined by underwriting results, meaning how the expenses and losses we will ultimately pay compare with the premiums we have received. When an underwriting profit is achieved – as has been the case at Berkshire in about half of the 38 years we have been in the insurance business – float is better than free. In such years, we are actually paid for holding other people's money. For most insurers, however, life has been far more difficult: In aggregate, the property-casualty industry almost invariably operates at an underwriting loss. When that loss is large, float becomes expensive, sometimes devastatingly so.

Insurers have generally earned poor returns for a simple reason: They sell a commodity-like product. Policy forms are standard, and the product is available from many suppliers, some of whom are mutual companies ("owned" by policyholders rather than stockholders) with profit goals that are limited. Moreover, most insureds don't care from whom they buy. Customers by the millions say "I need some Gillette blades" or "I'll have a Coke" but we wait in vain for "I'd like a National Indemnity policy, please." Consequently, price competition in insurance is usually fierce. Think airline seats.

So, you may ask, how do Berkshire's insurance operations overcome the dismal economics of the industry and achieve some measure of enduring competitive advantage? We've attacked that problem in several ways. Let's look first at NICO's strategy.

When we purchased the company – a specialist in commercial auto and general liability insurance – it did not appear to have any attributes that would overcome the industry's chronic troubles. It was not well-known, had no informational advantage (the company has never had an actuary), was not a low-cost operator, and sold through general agents, a method many people thought outdated. Nevertheless, for almost all of the past 38 years, NICO has been a star performer. Indeed, had we not made this acquisition, Berkshire would be lucky to be worth half of what it is today.

What we've had going for us is a managerial mindset that most insurers find impossible to replicate. Take a look at the facing page. Can you imagine *any* public company embracing a business model that would lead to the decline in revenue that we experienced from 1986 through 1999? That colossal slide, it should be emphasized, did not occur because business was unobtainable. Many billions of premium dollars were readily available to NICO had we only been willing to cut prices. But we instead consistently priced to make a profit, not to match our most optimistic competitor. We never left customers – but they left us.

Most American businesses harbor an "institutional imperative" that rejects extended decreases in volume. What CEO wants to report to his shareholders that not only did business contract last year but that it will continue to drop? In insurance, the urge to keep writing business is also intensified because the consequences of foolishly-priced policies may not become apparent for some time. If an insurer is optimistic in its reserving, reported earnings will be overstated, and years may pass before true loss costs are revealed (a form of self-deception that nearly destroyed GEICO in the early 1970s).

Portrait of a Disciplined Underwriter

National Indemnity Company

Year	Written Premium (In $ millions)	No. of Employees at Year-End	Ratio of Operating Expenses to Written Premium	Underwriting Profit (Loss) as a Percentage of Premiums (Calculated as of year end 2004)*
1980	$79.6	372	32.3%	8.2%
1981	59.9	353	36.1%	(.8%)
1982	52.5	323	36.7%	(15.3%)
1983	58.2	308	35.6%	(18.7%)
1984	62.2	342	35.5%	(17.0%)
1985	160.7	380	28.0%	1.9%
1986	366.2	403	25.9%	30.7%
1987	232.3	368	29.5%	27.3%
1988	139.9	347	31.7%	24.8%
1989	98.4	320	35.9%	14.8%
1990	87.8	289	37.4%	7.0%
1991	88.3	284	35.7%	13.0%
1992	82.7	277	37.9%	5.2%
1993	86.8	279	36.1%	11.3%
1994	85.9	263	34.6%	4.6%
1995	78.0	258	36.6%	9.2%
1996	74.0	243	36.5%	6.8%
1997	65.3	240	40.4%	6.2%
1998	56.8	231	40.4%	9.4%
1999	54.5	222	41.2%	4.5%
2000	68.1	230	38.4%	2.9%
2001	161.3	254	28.8%	(11.6%)
2002	343.5	313	24.0%	16.8%
2003	594.5	337	22.2%	18.1%
2004	605.6	340	22.5%	5.1%

*It takes a long time to learn the true profitability of any given year. First, many claims are received after the end of the year, and we must estimate how many of these there will be and what they will cost. (In insurance jargon, these claims are termed IBNR – incurred but not reported.) Second, claims often take years, or even decades, to settle, which means there can be many surprises along the way.

For these reasons, the results in this column simply represent our best estimate at the end of 2004 as to how we have done in prior years. Profit margins for the years through 1999 are probably close to correct because these years are "mature," in the sense that they have few claims still outstanding. The more recent the year, the more guesswork is involved. In particular, the results shown for 2003 and 2004 are apt to change significantly.

Finally, there is a fear factor at work, in that a shrinking business usually leads to layoffs. To avoid pink slips, employees will rationalize inadequate pricing, telling themselves that poorly-priced business must be tolerated in order to keep the organization intact and the distribution system happy. If this course isn't followed, these employees will argue, the company will not participate in the recovery that they invariably feel is just around the corner.

To combat employees' natural tendency to save their own skins, we have always promised NICO's workforce that *no one* will be fired because of declining volume, however severe the contraction. (This is not Donald Trump's sort of place.) NICO is not labor-intensive, and, as the table suggests, can live with excess overhead. It can't live, however, with underpriced business and the breakdown in underwriting discipline that accompanies it. An insurance organization that doesn't care deeply about underwriting at a profit *this* year is unlikely to care *next* year either.

Naturally, a business that follows a no-layoff policy must be especially careful to avoid overstaffing when times are good. Thirty years ago Tom Murphy, then CEO of Cap Cities, drove this point home to me with a hypothetical tale about an employee who asked his boss for permission to hire an assistant. The employee assumed that adding $20,000 to the annual payroll would be inconsequential. But his boss told him the proposal should be evaluated as a $3 million decision, given that an additional person would probably cost at least that amount over his lifetime, factoring in raises, benefits and other expenses (more people, more toilet paper). And unless the company fell on very hard times, the employee added would be unlikely to be dismissed, however marginal his contribution to the business.

It takes real fortitude – embedded deep within a company's culture – to operate as NICO does. Anyone examining the table can scan the years from 1986 to 1999 quickly. But living day after day with dwindling volume – while competitors are boasting of growth and reaping Wall Street's applause – is an experience few managers can tolerate. NICO, however, has had four CEOs since its formation in 1940 and *none* have bent. (It should be noted that only one of the four graduated from college. Our experience tells us that extraordinary business ability is largely innate.)

The current managerial star – make that superstar – at NICO is Don Wurster (yes, he's "the graduate"), who has been running things since 1989. His slugging percentage is right up there with Barry Bonds' because, like Barry, Don will accept a walk rather than swing at a bad pitch. Don has now amassed $950 million of float at NICO that over time is almost certain to be proved the negative-cost kind. Because insurance prices are falling, Don's volume will soon decline very significantly and, as it does, Charlie and I will applaud him ever more loudly.

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Another way to prosper in a commodity-type business is to be the low-cost operator. Among auto insurers operating on a broad scale, GEICO holds that cherished title. For NICO, as we have seen, an ebb-and-flow business model makes sense. But a company holding a low-cost advantage must pursue an unrelenting foot-to-the-floor strategy. And that's just what we do at GEICO.

A century ago, when autos first appeared, the property-casualty industry operated as a cartel. The major companies, most of which were based in the Northeast, established "bureau" rates and that was it. No one cut prices to attract business. Instead, insurers competed for strong, well-regarded agents, a focus that produced high commissions for agents and high prices for consumers.

In 1922, State Farm was formed by George Mecherle, a farmer from Merna, Illinois, who aimed to take advantage of the pricing umbrella maintained by the high-cost giants of the industry. State Farm employed a "captive" agency force, a system keeping its acquisition costs lower than those incurred by the bureau insurers (whose "independent" agents successfully played off one company against another). With its low-cost structure, State Farm eventually captured about 25% of the personal lines (auto and homeowners) business, far outdistancing its once-mighty competitors. Allstate, formed in 1931, put a similar distribution system into place and soon became the runner-up in personal lines to State Farm. Capitalism had worked its magic, and these low-cost operations looked unstoppable.

But a man named Leo Goodwin had an idea for an even more efficient auto insurer and, with a skimpy $200,000, started GEICO in 1936. Goodwin's plan was to eliminate the agent entirely and to deal instead directly with the auto owner. Why, he asked himself, should there be any unnecessary and expensive links in the distribution mechanism when the product, auto insurance, was both mandatory and costly. Purchasers of business insurance, he reasoned, might well require professional advice, but most consumers knew what they needed in an auto policy. That was a powerful insight.

Originally, GEICO mailed its low-cost message to a limited audience of government employees. Later, it widened its horizons and shifted its marketing emphasis to the phone, working inquiries that came from broadcast and print advertising. And today the Internet is coming on strong.

Between 1936 and 1975, GEICO grew from a standing start to a 4% market share, becoming the country's fourth largest auto insurer. During most of this period, the company was superbly managed, achieving both excellent volume gains and high profits. It looked unstoppable. But after my friend and hero Lorimer Davidson retired as CEO in 1970, his successors soon made a huge mistake by under-reserving for losses. This produced faulty cost information, which in turn produced inadequate pricing. By 1976, GEICO was on the brink of failure.

Jack Byrne then joined GEICO as CEO and, almost single-handedly, saved the company by heroic efforts that included major price increases. Though GEICO's survival required these, policyholders fled the company, and by 1980 its market share had fallen to 1.8%. Subsequently, the company embarked on some unwise diversification moves. This shift of emphasis away from its extraordinary core business stunted GEICO's growth, and by 1993 its market share had grown only fractionally, to 1.9%. Then Tony Nicely took charge.

And what a difference that's made: In 2005 GEICO will probably secure a 6% market share. Better yet, Tony has matched growth with profitability. Indeed, GEICO delivers all of its constituents major benefits: In 2004 its customers saved $1 billion or so compared to what they would otherwise have paid for coverage, its associates earned a $191 million profit-sharing bonus that averaged 24.3% of salary, and its owner – that's us – enjoyed excellent financial returns.

There's more good news. When Jack Byrne was rescuing the company in 1976, New Jersey refused to grant him the rates he needed to operate profitably. He therefore promptly – and properly – withdrew from the state. Subsequently, GEICO avoided both New Jersey and Massachusetts, recognizing them as two jurisdictions in which insurers were destined to struggle.

In 2003, however, New Jersey took a new look at its chronic auto-insurance problems and enacted legislation that would curb fraud and allow insurers a fair playing field. Even so, one might have expected the state's bureaucracy to make change slow and difficult.

But just the opposite occurred. Holly Bakke, the New Jersey insurance commissioner, who would be a success in *any* line of work, was determined to turn the law's intent into reality. With her staff's cooperation, GEICO ironed out the details for re-entering the state and was licensed last August. Since then, we've received a response from New Jersey drivers that is multiples of my expectations.

We are now serving 140,000 policyholders – about 4% of the New Jersey market – and saving them substantial sums (as we do drivers everywhere). Word-of-mouth recommendations within the state are causing inquiries to pour in. And once we hear from a New Jersey prospect, our closure rate – the percentage of policies issued to inquiries received – is far higher in the state than it is nationally.

We make no claim, of course, that we can save *everyone* money. Some companies, using rating systems that are different from ours, will offer certain classes of drivers a lower rate than we do. But we believe GEICO offers the lowest price more often than any other national company that serves all segments of the public. In addition, in most states, including New Jersey, Berkshire shareholders receive an 8% discount. So gamble fifteen minutes of your time and go to GEICO.com – or call 800-847-7536 – to see

whether you can save big money (which you might want to use, of course, to buy other Berkshire products).

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Reinsurance – insurance sold to other insurers who wish to lay off part of the risks they have assumed – should *not* be a commodity product. At bottom, any insurance policy is simply a promise, and as everyone knows, promises vary enormously in their quality.

At the primary insurance level, nevertheless, just who makes the promise is often of minor importance. In personal-lines insurance, for example, states levy assessments on solvent companies to pay the policyholders of companies that go broke. In the business-insurance field, the same arrangement applies to workers' compensation policies. "Protected" policies of these types account for about 60% of the property-casualty industry's volume. Prudently-run insurers are irritated by the need to subsidize poor or reckless management elsewhere, but that's the way it is.

Other forms of business insurance at the primary level involve promises that carry greater risks for the insured. When Reliance Insurance and Home Insurance were run into the ground, for example, their promises proved to be worthless. Consequently, many holders of their business policies (other than those covering workers' compensation) suffered painful losses.

The solvency risk in primary policies, however, pales in comparison to that lurking in reinsurance policies. When a reinsurer goes broke, staggering losses almost always strike the primary companies it has dealt with. This risk is far from minor: GEICO has suffered tens of millions in losses from its careless selection of reinsurers in the early 1980s.

Were a true mega-catastrophe to occur in the next decade or two – and that's a real possibility – some reinsurers would not survive. The largest insured loss to date is the World Trade Center disaster, which cost the insurance industry an estimated $35 billion. Hurricane Andrew cost insurers about $15.5 billion in 1992 (though that loss would be far higher in today's dollars). Both events rocked the insurance and reinsurance world. But a $100 billion event, or even a larger catastrophe, remains a possibility if either a particularly severe earthquake or hurricane hits just the wrong place. Four significant hurricanes struck Florida during 2004, causing an aggregate of $25 billion or so in insured losses. Two of these – Charley and Ivan – could have done at least three times the damage they did had they entered the U.S. not far from their actual landing points.

Many insurers regard a $100 billion industry loss as "unthinkable" and won't even plan for it. But at Berkshire, we are fully prepared. Our share of the loss would probably be 3% to 5%, and earnings from our investments and other businesses would comfortably exceed that cost. When "the day after" arrives, Berkshire's checks will clear.

Though the hurricanes hit us with a $1.25 billion loss, our reinsurance operations did well last year. At General Re, Joe Brandon has restored a long-admired culture of underwriting discipline that, for a time, had lost its way. The excellent results he realized in 2004 on current business, however, were offset by adverse developments from the years before he took the helm. At NICO's reinsurance operation, Ajit Jain continues to successfully underwrite huge risks that no other reinsurer is willing or able to accept. Ajit's value to Berkshire is enormous.

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Our insurance managers, maximizing the competitive strengths I've mentioned in this section, again delivered first-class underwriting results last year. As a consequence, our float was better than costless. Here's the scorecard:

	(in $ millions)		
	Underwriting Profit	*Yearend Float*	
Insurance Operations	*2004*	*2004*	*2003*
General Re	$ 3	$23,120	$23,654
B-H Reinsurance	417	15,278	13,948
GEICO	970	5,960	5,287
Other Primary*	161	1,736	1,331
Total	$1,551	$46,094	$44,220

*Includes, in addition to National Indemnity, a variety of other exceptional insurance businesses, run by Rod Eldred, John Kizer, Tom Nerney and Don Towle.

Berkshire's float increased $1.9 billion in 2004, even though a few insureds opted to commute (that is, unwind) certain reinsurance contracts. We agree to such commutations only when we believe the economics are favorable to us (after giving due weight to what we might earn in the future on the money we are returning).

To summarize, last year we were paid more than $1.5 billion to hold an average of about $45.2 billion. In 2005 pricing will be less attractive than it has been. Nevertheless, absent a mega-catastrophe, we have a decent chance of achieving no-cost float again this year.

Finance and Finance Products

Last year in this section we discussed a potpourri of activities. In this report, we'll skip over several that are now of lesser importance: Berkadia is down to tag ends; Value Capital has added other investors, negating our expectation that we would need to consolidate its financials into ours; and the trading operation that I run continues to shrink.

- Both of Berkshire's leasing operations rebounded last year. At CORT (office furniture), earnings remain inadequate, but are trending upward. XTRA disposed of its container and intermodal businesses in order to concentrate on trailer leasing, long its strong suit. Overhead has been reduced, asset utilization is up and decent profits are now being achieved under Bill Franz, the company's new CEO.

- The wind-down of Gen Re Securities continues. We decided to exit this derivative operation three years ago, but getting out is easier said than done. Though derivative instruments are purported to be highly liquid – and though we have had the benefit of a benign market while liquidating ours – we still had 2,890 contracts outstanding at yearend, down from 23,218 at the peak. Like Hell, derivative trading is easy to enter but difficult to leave. (Other similarities come to mind as well.)

  Gen Re's derivative contracts have always been required to be marked to market, and I believe the company's management conscientiously tried to make realistic "marks." The market prices of derivatives, however, can be very fuzzy in a world in which settlement of a transaction is sometimes decades away and often involves multiple variables as well. In the interim the marks influence the managerial and trading bonuses that are paid annually. It's small wonder that phantom profits are often recorded.

  Investors should understand that in all types of financial institutions, rapid growth sometimes masks major underlying problems (and occasionally fraud). The real test of the earning power of a derivatives operation is what it achieves after operating for an extended period in a no-growth mode. You only learn who has been swimming naked when the tide goes out.

- After 40 years, we've finally generated a little synergy at Berkshire: Clayton Homes is doing well and that's in part due to its association with Berkshire. The manufactured home industry

continues to reside in the intensive care unit of Corporate America, having sold less than 135,000 new homes last year, about the same as in 2003. Volume in these years was the lowest since 1962, and it was also only about 40% of annual sales during the years 1995-99. That era, characterized by irresponsible financing and naïve funders, was a fool's paradise for the industry.

Because one major lender after another has fled the field, financing continues to bedevil manufacturers, retailers and purchasers of manufactured homes. Here Berkshire's support has proven valuable to Clayton. We stand ready to fund whatever makes sense, and last year Clayton's management found much that qualified.

As we explained in our 2003 report, we believe in using borrowed money to support profitable, interest-bearing receivables. At the beginning of last year, we had borrowed $2 billion to relend to Clayton (at a one percentage-point markup) and by January 2005 the total was $7.35 billion. Most of the dollars added were borrowed by us on January 4, 2005, to finance a seasoned portfolio that Clayton purchased on December 30, 2004 from a bank exiting the business.

We now have two additional portfolio purchases in the works, totaling about $1.6 billion, but it's quite unlikely that we will secure others of any significance. Therefore, Clayton's receivables (in which originations will roughly offset payoffs) will probably hover around $9 billion for some time and should deliver steady earnings. This pattern will be far different from that of the past, in which Clayton, like all major players in its industry, "securitized" its receivables, causing earnings to be front-ended. In the last two years, the securitization market has dried up. The limited funds available today come only at higher cost and with harsh terms. Had Clayton remained independent in this period, it would have had mediocre earnings as it struggled with financing.

In April, Clayton completed the acquisition of Oakwood Homes and is now the industry's largest producer and retailer of manufactured homes. We love putting more assets in the hands of Kevin Clayton, the company's CEO. He is a prototype Berkshire manager. Today, Clayton has 11,837 employees, up from 7,136 when we purchased it, and Charlie and I are pleased that Berkshire has been useful in facilitating this growth.

For simplicity's sake, we include all of Clayton's earnings in this sector, though a sizable portion of these are derived from areas other than consumer finance.

	(in $ millions)			
	Pre-Tax Earnings		*Interest-Bearing Liabilities*	
	2004	*2003*	*2004*	*2003*
Trading – ordinary income	$ 264	$ 355	$5,751	$7,826
Gen Re Securities	(44)	(99)	5,437*	8,041*
Life and annuity operation	(57)	85	2,467	2,331
Value Capital	30	31	N/A	N/A
Berkadia	1	101	—	525
Leasing operations	92	34	391	482
Manufactured housing finance (Clayton)	220	37**	3,636	2,032
Other	78	75	N/A	N/A
Income before capital gains	584	619		
Trading – capital gains	1,750	1,215		
Total	$2,334	$1,834		

* Includes all liabilities

** From date of acquisition, August 7, 2003

Manufacturing, Service and Retailing Operations

Our activities in this category cover the waterfront. But let's look at a summary balance sheet and earnings statement consolidating the entire group.

Balance Sheet 12/31/04 (in $ millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 899	Notes payable	$ 1,143
Accounts and notes receivable	3,074	Other current liabilities	4,685
Inventory	3,842	Total current liabilities	5,828
Other current assets	254		
Total current assets	8,069		
Goodwill and other intangibles	8,362	Deferred taxes	248
Fixed assets	6,161	Term debt and other liabilities	1,965
Other assets	1,044	Equity	15,595
	$23,636		$23,636

Earnings Statement (in $ millions)

	2004	*2003*
Revenues	$44,142	$32,106
Operating expenses (including depreciation of $676 in 2004 and $605 in 2003)	41,604	29,885
Interest expense (net)	57	64
Pre-tax earnings	2,481	2,157
Income taxes	941	813
Net income	$ 1,540	$ 1,344

This eclectic group, which sells products ranging from Dilly Bars to fractional interests in Boeing 737s, earned a very respectable 21.7% on average tangible net worth last year, compared to 20.7% in 2003. It's noteworthy that these operations used only minor financial leverage in achieving these returns. Clearly, we own some very good businesses. We purchased many of them, however, at substantial premiums to net worth – a matter that is reflected in the goodwill item shown on the balance sheet – and that fact reduces the earnings on our average *carrying* value to 9.9%.

Here are the pre-tax earnings for the larger categories or units.

	Pre-Tax Earnings (in $ millions)	
	2004	*2003*
Building Products	$ 643	$ 559
Shaw Industries	466	436
Apparel & Footwear	325	289
Retailing of Jewelry, Home Furnishings and Candy	215	224
Flight Services	191	72
McLane	228	150*
Other businesses	413	427
	$2,481	$2,157

* From date of acquisition, May 23, 2003.

- In the building-products sector and at Shaw, we've experienced staggering cost increases for both raw-materials and energy. By December, for example, steel costs at MiTek (whose primary business is connectors for roof trusses) were running 100% over a year earlier. And MiTek uses 665 million pounds of steel every year. Nevertheless, the company continues to be an outstanding performer.

Since we purchased MiTek in 2001, Gene Toombs, its CEO, has made some brilliant "bolt-on" acquisitions and is on his way to creating a mini-Berkshire.

Shaw fielded a barrage of price increases in its main fiber materials during the year, a hit that added more than $300 million to its costs. (When you walk on carpet you are, in effect, stepping on processed oil.) Though we followed these hikes in costs with price increases of our own, there was an inevitable lag. Therefore, margins narrowed as the year progressed and remain under pressure today. Despite these roadblocks, Shaw, led by Bob Shaw and Julian Saul, earned an outstanding 25.6% on tangible equity in 2004. The company is a powerhouse and has a bright future.

- In apparel, Fruit of the Loom increased unit sales by 10 million dozen, or 14%, with shipments of intimate apparel for women and girls growing by 31%. Charlie, who is far more knowledgeable than I am on this subject, assures me that women are *not* wearing more underwear. With this expert input, I can only conclude that our market share in the women's category must be growing rapidly. Thanks to John Holland, Fruit is on the move.

  A smaller operation, Garan, also had an excellent year. Led by Seymour Lichtenstein and Jerry Kamiel, this company manufactures the popular Garanimals line for children. Next time you are in a Wal-Mart, check out this imaginative product.

- Among our retailers, Ben Bridge (jewelry) and R. C. Willey (home furnishings) were particular standouts last year.

  At Ben Bridge same-store sales grew 11.4%, the best gain among the publicly-held jewelers whose reports I have seen. Additionally, the company's profit margin widened. Last year was not a fluke: During the past decade, the same-store sales gains of the company have averaged 8.8%.

  Ed and Jon Bridge are fourth-generation managers and run the business exactly as if it were their own – which it is in every respect except for Berkshire's name on the stock certificates. The Bridges have expanded successfully by securing the right locations and, more importantly, by staffing these stores with enthusiastic and knowledgeable associates. We will move into Minneapolis-St. Paul this year.

  At Utah-based R. C. Willey, the gains from expansion have been even more dramatic, with 41.9% of 2004 sales coming from out-of-state stores that didn't exist before 1999. The company also improved its profit margin in 2004, propelled by its two new stores in Las Vegas.

  I would like to tell you that these stores were my idea. In truth, I thought they were mistakes. I knew, of course, how brilliantly Bill Child had run the R. C. Willey operation in Utah, where its market share had long been huge. But I felt our closed-on-Sunday policy would prove disastrous away from home. Even our first out-of-state store in Boise, which was highly successful, left me unconvinced. I kept asking whether Las Vegas residents, conditioned to seven-day-a-week retailers, would adjust to us. Our first Las Vegas store, opened in 2001, answered this question in a resounding manner, immediately becoming our number one unit.

  Bill and Scott Hymas, his successor as CEO, then proposed a second Las Vegas store, only about 20 minutes away. I felt this expansion would cannibalize the first unit, adding significant costs but only modest sales. The result? Each store is now doing about 26% more volume than any other store in the chain and is consistently showing large year-over-year gains.

  R. C. Willey will soon open in Reno. Before making this commitment, Bill and Scott again asked for my advice. Initially, I was pretty puffed up about the fact that they were consulting me. But then it dawned on me that the opinion of someone who is *always* wrong has its own special utility to decision-makers.

- Earnings improved in flight services. At FlightSafety, the world's leader in pilot training, profits rose as corporate aviation rebounded and our business with regional airlines increased. We now operate 283 simulators with an original cost of $1.2 billion. Pilots are trained one at a time on this expensive equipment. This means that as much as $3.50 of capital investment is required to produce $1 of annual revenue. With this level of capital intensity, FlightSafety requires very high operating margins in order to obtain reasonable returns on capital, which means that utilization rates are all-important. Last year, FlightSafety's return on tangible equity improved to 15.1% from 8.4% in 2003.

  In another 2004 event, Al Ueltschi, who founded FlightSafety in 1951 with $10,000, turned over the CEO position to Bruce Whitman, a 43-year veteran at the company. (But Al's not going anywhere; I won't let him.) Bruce shares Al's conviction that flying an aircraft is a privilege to be extended only to people who regularly receive the highest quality of training and are undeniably competent. A few years ago, Charlie was asked to intervene with Al on behalf of a tycoon friend whom FlightSafety had flunked. Al's reply to Charlie: "Tell your pal he belongs in the back of the plane, not the cockpit."

  FlightSafety's number one customer is NetJets, our aircraft fractional-ownership subsidiary. Its 2,100 pilots spend an average of 18 days a year in training. Additionally, these pilots fly only one aircraft type whereas many flight operations juggle pilots among several types. NetJets' high standards on both fronts are two of the reasons I signed up with the company years before Berkshire bought it.

  Fully as important in my decisions to both use and buy NetJets, however, was the fact that the company was managed by Rich Santulli, the creator of the fractional-ownership industry and a fanatic about safety and service. I viewed the selection of a flight provider as akin to picking a brain surgeon: you simply want the best. (Let someone else experiment with the low bidder.)

  Last year NetJets again gained about 70% of the net new business (measured by dollar value) going to the four companies that dominate the industry. A portion of our growth came from the 25-hour card offered by Marquis Jet Partners. Marquis is not owned by NetJets, but is instead a customer that repackages the purchases it makes from us into smaller packages that it sells through its card. Marquis deals exclusively with NetJets, utilizing the power of our reputation in its marketing.

  Our U.S. contracts, including Marquis customers, grew from 3,877 to 4,967 in 2004 (versus approximately 1,200 contracts when Berkshire bought NetJets in 1998). Some clients (including me) enter into multiple contracts because they wish to use more than one type of aircraft, selecting for any given trip whichever type best fits the mission at hand.

  NetJets earned a modest amount in the U.S. last year. But what we earned domestically was largely offset by losses in Europe. We are now, however, generating real momentum abroad. Contracts (including 25-hour cards that we ourselves market in Europe) increased from 364 to 693 during the year. We will again have a very significant European loss in 2005, but domestic earnings will likely put us in the black overall.

  Europe has been expensive for NetJets – far more expensive than I anticipated – but it is essential to building a flight operation that will forever be in a class by itself. Our U.S. owners already want a quality service wherever they travel and their wish for flight hours abroad is certain to grow dramatically in the decades ahead. Last year, U.S. owners made 2,003 flights in Europe, up 22% from the previous year and 137% from 2000. Just as important, our European owners made 1,067 flights in the U.S., up 65% from 2003 and 239% from 2000.

Investments

We show below our common stock investments. Those that had a market value of more than $600 million at the end of 2004 are itemized.

			12/31/04	
Shares	*Company*	*Percentage of Company Owned*	*Cost**	*Market*
			(in $ millions)	
151,610,700	American Express Company	12.1	$1,470	$ 8,546
200,000,000	The Coca-Cola Company	8.3	1,299	8,328
96,000,000	The Gillette Company	9.7	600	4,299
14,350,600	H&R Block, Inc.	8.7	223	703
6,708,760	M&T Bank Corporation	5.8	103	723
24,000,000	Moody's Corporation	16.2	499	2,084
2,338,961,000	PetroChina "H" shares (or equivalents)	1.3	488	1,249
1,727,765	The Washington Post Company	18.1	11	1,698
56,448,380	Wells Fargo & Company	3.3	463	3,508
1,724,200	White Mountains Insurance	16.0	369	1,114
	Others		3,531	5,465
	Total Common Stocks		$9,056	$37,717

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required.

Some people may look at this table and view it as a list of stocks to be bought and sold based upon chart patterns, brokers' opinions, or estimates of near-term earnings. Charlie and I ignore such distractions and instead view our holdings as fractional ownerships in businesses. This is an important distinction. Indeed, this thinking has been the cornerstone of my investment behavior since I was 19. At that time I read Ben Graham's *The Intelligent Investor*, and the scales fell from my eyes. (Previously, I had been entranced by the stock market, but didn't have a clue about how to invest.)

Let's look at how the *businesses* of our "Big Four" – American Express, Coca-Cola, Gillette and Wells Fargo – have fared since we bought into these companies. As the table shows, we invested $3.83 billion in the four, by way of multiple transactions between May 1988 and October 2003. On a composite basis, our dollar-weighted purchase date is July 1992. By yearend 2004, therefore, we had held these "business interests," on a weighted basis, about 12½ years.

In 2004, Berkshire's share of the group's earnings amounted to $1.2 billion. These earnings might legitimately be considered "normal." True, they were swelled because Gillette and Wells Fargo omitted option costs in their presentation of earnings; but on the other hand they were reduced because Coke had a non-recurring write-off.

Our share of the earnings of these four companies has grown almost every year, and now amounts to about 31.3% of our cost. Their cash distributions to us have also grown consistently, totaling $434 million in 2004, or about 11.3% of cost. All in all, the Big Four have delivered us a satisfactory, though far from spectacular, business result.

That's true as well of our experience in the market with the group. Since our original purchases, valuation gains have somewhat exceeded earnings growth because price/earnings ratios have increased. On a year-to-year basis, however, the business and market performances have often diverged, sometimes to an extraordinary degree. During The Great Bubble, market-value gains far outstripped the performance of the businesses. In the aftermath of the Bubble, the reverse was true.

Clearly, Berkshire's results would have been far better if I had caught this swing of the pendulum. That may seem easy to do when one looks through an always-clean, rear-view mirror. Unfortunately, however, it's the windshield through which investors must peer, and that glass is invariably fogged. Our huge positions add to the difficulty of our nimbly dancing in and out of holdings as valuations swing.

Nevertheless, I can properly be criticized for merely clucking about nose-bleed valuations during the Bubble rather than acting on my views. Though I said at the time that certain of the stocks we held were priced ahead of themselves, I underestimated just how severe the overvaluation was. I talked when I should have walked.

What Charlie and I would like is a little action now. We don't enjoy sitting on $43 billion of cash equivalents that are earning paltry returns. Instead, we yearn to buy more fractional interests similar to those we now own or – better still – more large businesses outright. We will do either, however, only when purchases can be made at prices that offer us the prospect of a reasonable return on our investment.

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We've repeatedly emphasized that the "realized" gains that we report quarterly or annually are meaningless for analytical purposes. We have a huge amount of unrealized gains on our books, and our thinking about when, and if, to cash them depends not at all on a desire to report earnings at one specific time or another. A further complication in our reported gains occurs because GAAP requires that foreign exchange contracts be marked to market, a stipulation that causes unrealized gains or losses in these holdings to flow through our published earnings as if we had sold our positions.

Despite the problems enumerated, you may be interested in a breakdown of the gains we reported in 2003 and 2004. The data reflect actual sales except in the case of currency gains, which are a combination of sales and marks to market.

Category	*Pre-Tax Gain (in $ millions)*	
	2004	*2003*
Common Stocks	$ 870	$ 448
U.S. Government Bonds	104	1,485
Junk Bonds	730	1,138
Foreign Exchange Contracts	1,839	825
Other	(47)	233
Total	$3,496	$4,129

The junk bond profits include a foreign exchange component. When we bought these bonds in 2001 and 2002, we focused first, of course, on the credit quality of the issuers, all of which were American corporations. Some of these companies, however, had issued bonds denominated in foreign currencies. Because of our views on the dollar, we favored these for purchase when they were available.

As an example, we bought €254 million of Level 3 bonds (10 ¾% of 2008) in 2001 at 51.7% of par, and sold these at 85% of par in December 2004. This issue was traded in Euros that cost us 88¢ at the time of purchase but that brought $1.29 when we sold. Thus, of our $163 million overall gain, about $85 million came from the market's revised opinion about Level 3's credit quality, with the remaining $78 million resulting from the appreciation of the Euro. (In addition, we received cash interest during our holding period that amounted to about 25% annually on our dollar cost.)

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The media continue to report that "Buffett buys" this or that stock. Statements like these are almost always based on filings Berkshire makes with the SEC and are therefore wrong. As I've said before, the stories should say "*Berkshire* buys."

Portrait of a Disciplined Investor

Lou Simpson

Year	*Return from GEICO Equities*	*S&P Return*	*Relative Results*
1980	23.7%	32.3%	(8.6%)
1981	5.4%	(5.0%)	10.4%
1982	45.8%	21.4%	24.4%
1983	36.0%	22.4%	13.6%
1984	21.8%	6.1%	15.7%
1985	45.8%	31.6%	14.2%
1986	38.7%	18.6%	20.1%
1987	(10.0%)	5.1%	(15.1%)
1988	30.0%	16.6%	13.4%
1989	36.1%	31.7%	4.4%
1990	(9.9%)	(3.1%)	(6.8%)
1991	56.5%	30.5%	26.0%
1992	10.8%	7.6%	3.2%
1993	4.6%	10.1%	(5.5%)
1994	13.4%	1.3%	12.1%
1995	39.8%	37.6%	2.2%
1996	29.2%	23.0%	6.2%
1997	24.6%	33.4%	(8.8%)
1998	18.6%	28.6%	(10.0%)
1999	7.2%	21.0%	(13.8%)
2000	20.9%	(9.1%)	30.0%
2001	5.2%	(11.9%)	17.1%
2002	(8.1%)	(22.1%)	14.0%
2003	38.3%	28.7%	9.6%
2004	16.9%	10.9%	6.0%
Average Annual Gain 1980-2004	20.3%	13.5%	6.8%

Even then, it is typically not I who make the buying decisions. Lou Simpson manages about $2½ billion of equities that are held by GEICO, and it is his transactions that Berkshire is usually reporting. Customarily his purchases are in the $200-$300 million range and are in companies that are smaller than the ones I focus on. Take a look at the facing page to see why Lou is a cinch to be inducted into the investment Hall of Fame.

You may be surprised to learn that Lou does not necessarily inform me about what he is doing. When Charlie and I assign responsibility, we truly hand over the baton – and we give it to Lou just as we do to our operating managers. Therefore, I typically learn of Lou's transactions about ten days after the end of each month. Sometimes, it should be added, I silently disagree with his decisions. But he's usually right.

Foreign Currencies

Berkshire owned about $21.4 billion of foreign exchange contracts at yearend, spread among 12 currencies. As I mentioned last year, holdings of this kind are a decided change for us. Before March 2002, neither Berkshire nor I had *ever* traded in currencies. But the evidence grows that our trade policies will put unremitting pressure on the dollar for many years to come – so since 2002 we've heeded that warning in setting our investment course. (As W.C. Fields once said when asked for a handout: "Sorry, son, all my money's tied up in currency.")

Be clear on one point: In no way does our thinking about currencies rest on doubts about America. We live in an extraordinarily rich country, the product of a system that values market economics, the rule of law and equality of opportunity. Our economy is far and away the strongest in the world and will continue to be. We are lucky to live here.

But as I argued in a November 10, 2003 article in *Fortune*, (available at berkshirehathaway.com), our country's trade practices are weighing down the dollar. The decline in its value has already been substantial, but is nevertheless likely to continue. Without policy changes, currency markets could even become disorderly and generate spillover effects, both political and financial. No one knows whether these problems will materialize. But such a scenario is a far-from-remote possibility that policymakers should be considering *now*. Their bent, however, is to lean toward not-so-benign neglect: A 318-page Congressional study of the consequences of unremitting trade deficits was published in November 2000 and has been gathering dust ever since. The study was ordered after the deficit hit a then-alarming $263 billion in 1999; by last year it had risen to $618 billion.

Charlie and I, it should be emphasized, believe that true trade – that is, the exchange of goods and services with other countries – is enormously beneficial for both us and them. Last year we had $1.15 trillion of such honest-to-God trade and the more of this, the better. But, as noted, our country also purchased an additional $618 billion in goods and services from the rest of the world that was unreciprocated. That is a staggering figure and one that has important consequences.

The balancing item to this one-way pseudo-trade — in economics there is always an offset — is a transfer of wealth from the U.S. to the rest of the world. The transfer may materialize in the form of IOUs our private or governmental institutions give to foreigners, or by way of their assuming ownership of our assets, such as stocks and real estate. In either case, Americans end up owning a reduced portion of our country while non-Americans own a greater part. This force-feeding of American wealth to the rest of the world is now proceeding at the rate of $1.8 billion daily, an increase of 20% since I wrote you last year. Consequently, other countries and their citizens now own a net of about $3 trillion of the U.S. A decade ago their net ownership was negligible.

The mention of trillions numbs most brains. A further source of confusion is that the current account deficit (the sum of three items, the most important by far being the trade deficit) and our national budget deficit are often lumped as "twins." They are anything but. They have different causes and different consequences.

A budget deficit in no way reduces the portion of the national pie that goes to Americans. As long as other countries and their citizens have no net ownership of the U.S., 100% of our country's output belongs to our citizens under *any* budget scenario, even one involving a huge deficit.

As a rich "family" awash in goods, Americans will argue through their legislators as to how government should redistribute the national output – that is who pays taxes and who receives governmental benefits. If "entitlement" promises from an earlier day have to be reexamined, "family members" will angrily debate among themselves as to who feels the pain. Maybe taxes will go up; maybe promises will be modified; maybe more internal debt will be issued. But when the fight is finished, *all* of the family's huge pie remains available for its members, however it is divided. No slice must be sent abroad.

Large and persisting current account deficits produce an entirely different result. As time passes, and as claims against us grow, we own less and less of what we produce. In effect, the rest of the world enjoys an ever-growing royalty on American output. Here, we are like a family that consistently overspends its income. As time passes, the family finds that it is working more and more for the "finance company" and less for itself.

Should we continue to run current account deficits comparable to those now prevailing**,** the net ownership of the U.S. by other countries and their citizens a decade from now will amount to roughly $11 trillion. And, if foreign investors were to earn only 5% on that net holding, we would need to send a net of $.55 trillion of goods and services abroad *every year* merely to service the U.S. investments then held by foreigners. At that date, a decade out, our GDP would probably total about $18 trillion (assuming low inflation, which is far from a sure thing). Therefore, our U.S. "family" would then be delivering 3% of its annual output to the rest of the world simply as tribute for the overindulgences of the past. In this case, unlike that involving budget deficits, the sons would truly pay for the sins of their fathers.

This annual royalty paid the world – which would not disappear unless the U.S. massively underconsumed and began to run consistent and large trade surpluses – would undoubtedly produce significant political unrest in the U.S. Americans would still be living very well, indeed better than now because of the growth in our economy. But they would chafe at the idea of perpetually paying tribute to their creditors and owners abroad. A country that is now aspiring to an "Ownership Society" will not find happiness in – and I'll use hyperbole here for emphasis – a "Sharecropper's Society." But that's precisely where our trade policies, supported by Republicans and Democrats alike, are taking us.

Many prominent U.S. financial figures, both in and out of government, have stated that our current-account deficits cannot persist. For instance, the minutes of the Federal Reserve Open Market Committee of June 29-30, 2004 say: "The staff noted that outsized external deficits could not be sustained indefinitely." But, despite the constant handwringing by luminaries, they offer no substantive suggestions to tame the burgeoning imbalance.

In the article I wrote for *Fortune* 16 months ago, I warned that "a gently declining dollar would not provide the answer." And so far it hasn't. Yet policymakers continue to hope for a "soft landing," meanwhile counseling other countries to stimulate (read "inflate") their economies and Americans to save more. In my view these admonitions miss the mark: There are deep-rooted structural problems that will cause America to continue to run a huge current-account deficit unless trade policies either change materially or the dollar declines by a degree that could prove unsettling to financial markets.

Proponents of the trade status quo are fond of quoting Adam Smith: "What is prudence in the conduct of every family can scarce be folly in that of a great kingdom. If a foreign country can supply us with a commodity cheaper than we ourselves can make it, better buy it of them with some part of the produce of our own industry, employed in a way in which we have some advantage."

I agree. Note, however, that Mr. Smith's statement refers to trade of *product* for product, not of *wealth* for product as our country is doing to the tune of $.6 trillion annually. Moreover, I am sure that he would never have suggested that "prudence" consisted of his "family" selling off part of its farm every day

in order to finance its overconsumption. Yet that is just what the "great kingdom" called the United States is doing.

If the U.S. was running a $.6 trillion current-account *surplus*, commentators worldwide would violently condemn our policy, viewing it as an extreme form of "mercantilism" – a long-discredited economic strategy under which countries fostered exports, discouraged imports, and piled up treasure. I would condemn such a policy as well. But, in effect if not in intent, the rest of the world is practicing mercantilism in respect to the U.S., an act made possible by our vast store of assets and our pristine credit history. Indeed, the world would never let any other country use a credit card denominated in its own currency to the insatiable extent we are employing ours. Presently, most foreign investors are sanguine: they may view us as spending junkies, but they know we are *rich* junkies as well.

Our spendthrift behavior won't, however, be tolerated indefinitely. And though it's impossible to forecast just when and how the trade problem will be resolved, it's improbable that the resolution will foster an *increase* in the value of our currency relative to that of our trading partners.

We hope the U.S. adopts policies that will quickly and substantially reduce the current-account deficit. True, a prompt solution would likely cause Berkshire to record losses on its foreign-exchange contracts. But Berkshire's resources remain heavily concentrated in dollar-based assets, and both a strong dollar and a low-inflation environment are very much in our interest.

If you wish to keep abreast of trade and currency matters, read *The Financial Times*. This London-based paper has long been the leading source for daily international financial news and now has an excellent American edition. Both its reporting and commentary on trade are first-class.

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And, again, our usual caveat: macro-economics is a tough game in which few people, Charlie and I included, have demonstrated skill. We may well turn out to be wrong in our currency judgments. (Indeed, the fact that so many pundits now predict weakness for the dollar makes us uneasy.) If so**,** our mistake will be very public. The irony is that if we chose the opposite course, leaving all of Berkshire's assets in dollars even as they declined significantly in value, no one would notice our mistake.

John Maynard Keynes said in his masterful *The General Theory*: "Worldly wisdom teaches that it is better for reputation to fail conventionally than to succeed unconventionally." (Or, to put it in less elegant terms, lemmings as a class may be derided but never does an *individual* lemming get criticized.) From a reputational standpoint, Charlie and I run a clear risk with our foreign-exchange commitment. But we believe in managing Berkshire as if we owned 100% of it ourselves. And, were that the case, we would not be following a dollar-only policy.

Miscellaneous

- Last year I told you about a group of University of Tennessee finance students who played a key role in our $1.7 billion acquisition of Clayton Homes. Earlier, they had been brought to Omaha by their professor, Al Auxier – he brings a class every year – to tour Nebraska Furniture Mart and Borsheim's, eat at Gorat's and have a Q&A session with me at Kiewit Plaza. These visitors, like those who come for our annual meeting, leave impressed by both the city and its friendly residents.

  Other colleges and universities have now come calling. This school year we will have visiting classes, ranging in size from 30 to 100 students, from Chicago, Dartmouth (Tuck), Delaware State, Florida State, Indiana, Iowa, Iowa State, Maryland, Nebraska, Northwest Nazarene, Pennsylvania (Wharton), Stanford, Tennessee, Texas, Texas A&M, Toronto (Rotman), Union and Utah. Most of the students are MBA candidates, and I've been impressed by their quality. They are keenly interested in business and investments, but their questions indicate that they also have more on their minds than simply making money. I always feel good after meeting them.

At our sessions, I tell the newcomers the story of the Tennessee group and its spotting of Clayton Homes. I do this in the spirit of the farmer who enters his hen house with an ostrich egg and admonishes the flock: "I don't like to complain, girls, but this is just a small sample of what the competition is doing." To date, our new scouts have not brought us deals. But their mission in life has been made clear to them.

- You should be aware of an accounting rule that mildly distorts our financial statements in a pain-today, gain-tomorrow manner. Berkshire purchases life insurance policies from individuals and corporations who would otherwise surrender them for cash. As the new holder of the policies, we pay any premiums that become due and ultimately – when the original holder dies – collect the face value of the policies.

  The original policyholder is usually in good health when we purchase the policy. Still, the price we pay for it is always well above its cash surrender value ("CSV"). Sometimes the original policyholder has borrowed against the CSV to make premium payments. In that case, the remaining CSV will be tiny and our purchase price will be a large multiple of what the original policyholder would have received, had he cashed out by surrendering it.

  Under accounting rules, we must immediately charge as a realized capital loss the excess over CSV that we pay upon purchasing the policy. We also must make additional charges each year for the amount by which the premium we pay to keep the policy in force exceeds the increase in CSV. But obviously, we don't think these bookkeeping charges represent economic losses. If we did, we wouldn't buy the policies.

  During 2004, we recorded net "losses" from the purchase of policies (and from the premium payments required to maintain them) totaling $207 million, which was charged against realized investment gains in our earnings statement (included in "other" in the table on page 17). When the proceeds from these policies are received in the future, we will record as realized investment gain the excess over the then-CSV.

- Two post-bubble governance reforms have been particularly useful at Berkshire, and I fault myself for not putting them in place many years ago. The first involves regular meetings of directors without the CEO present. I've sat on 19 boards, and on many occasions this process would have led to dubious plans being examined more thoroughly. In a few cases, CEO changes that were needed would also have been made more promptly. There is no downside to this process, and there are many possible benefits.

  The second reform concerns the "whistleblower line," an arrangement through which employees can send information to me and the board's audit committee without fear of reprisal. Berkshire's extreme decentralization makes this system particularly valuable both to me and the committee. (In a sprawling "city" of 180,000 – Berkshire's current employee count – not every sparrow that falls will be noticed at headquarters.) Most of the complaints we have received are of "the guy next to me has bad breath" variety, but on occasion I have learned of important problems at our subsidiaries that I otherwise would have missed. The issues raised are usually not of a type discoverable by audit, but relate instead to personnel and business practices. Berkshire would be more valuable today if I had put in a whistleblower line decades ago.

- Charlie and I love the idea of shareholders thinking and behaving like owners. Sometimes that requires them to be pro-active. And in this arena large institutional owners should lead the way.

  So far, however, the moves made by institutions have been less than awe-inspiring. Usually, they've focused on minutiae and ignored the three questions that truly count. First, does the company have the right CEO? Second, is he/she overreaching in terms of compensation? Third, are proposed acquisitions more likely to create or destroy per-share value?

On such questions, the interests of the CEO may well differ from those of the shareholders. Directors, moreover, sometimes lack the knowledge or gumption to overrule the CEO. Therefore, it's vital that large owners focus on these three questions and speak up when necessary.

Instead many simply follow a "checklist" approach to the issue *du jour*. Last year I was on the receiving end of a judgment reached in that manner. Several institutional shareholders and their advisors decided I lacked "independence" in my role as a director of Coca-Cola. One group wanted me removed from the board and another simply wanted me booted from the audit committee.

My first impulse was to secretly fund the group behind the second idea. Why anyone would wish to be on an audit committee is beyond me. But since directors must be assigned to one committee or another, and since no CEO wants me on his compensation committee, it's often been my lot to get an audit committee assignment. As it turned out, the institutions that opposed me failed and I was re-elected to the audit job. (I fought off the urge to ask for a recount.)

Some institutions questioned my "independence" because, among other things, McLane and Dairy Queen buy lots of Coke products. (Do they want us to favor Pepsi?) But independence is defined in Webster's as "not subject to control by others." I'm puzzled how anyone could conclude that our Coke purchases would "control" my decision-making when the counterweight is the well-being of $8 billion of Coke stock held by Berkshire. Assuming I'm even marginally rational, elementary arithmetic should make it clear that my heart and mind belong to the owners of Coke, not to its management.

I can't resist mentioning that Jesus understood the calibration of independence far more clearly than do the protesting institutions. In Matthew 6:21 He observed: "For where your treasure is, there will your heart be also." Even to an institutional investor, $8 billion should qualify as "treasure" that dwarfs any profits Berkshire might earn on its routine transactions with Coke.

Measured by the biblical standard, the Berkshire board is a model: (a) *every* director is a member of a family owning at least $4 million of stock; (b) *none* of these shares were acquired from Berkshire via options or grants; (c) *no* directors receive committee, consulting or board fees from the company that are more than a tiny portion of their annual income; and (d) although we have a standard corporate indemnity arrangement, we carry no liability insurance for directors.

At Berkshire, board members travel the same road as shareholders.

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Charlie and I have seen much behavior confirming the Bible's "treasure" point. In our view, based on our considerable boardroom experience, the *least* independent directors are likely to be those who receive an important fraction of their annual income from the fees they receive for board service (and who hope as well to be recommended for election to other boards and thereby to boost their income further). Yet these are the very board members most often classed as "independent."

Most directors of this type are decent people and do a first-class job. But they wouldn't be human if they weren't tempted to thwart actions that would threaten their livelihood. Some may go on to succumb to such temptations.

Let's look at an example based upon circumstantial evidence. I have first-hand knowledge of a recent acquisition proposal (not from Berkshire) that was favored by management, blessed by the company's investment banker and slated to go forward at a price above the level at which the stock had sold for some years (or now sells for). In addition, a number of directors favored the transaction and wanted it proposed to shareholders.

Several of their brethren, however, each of whom received board and committee fees totaling about $100,000 annually, scuttled the proposal, which meant that shareholders never learned of this multi-billion offer. Non-management directors owned little stock except for shares they had received from the company. Their open-market purchases in recent years had meanwhile been nominal, even though the stock had sold far below the acquisition price proposed. In other words, these directors didn't want the shareholders to be offered X even though they had consistently declined the opportunity to buy stock for their own account at a fraction of X.

I don't know which directors opposed letting shareholders see the offer. But I do know that $100,000 is an important portion of the annual income of some of those deemed "independent," clearly meeting the Matthew 6:21 definition of "treasure." If the deal had gone through, these fees would have ended.

Neither the shareholders nor I will ever know what motivated the dissenters. Indeed they themselves will not likely know, given that self-interest inevitably blurs introspection. We do know one thing, though: At the same meeting at which the deal was rejected, the board voted itself a significant increase in directors' fees.

- While we are on the subject of self-interest, let's turn again to the most important accounting mechanism still available to CEOs who wish to overstate earnings: the non-expensing of stock options. The accomplices in perpetuating this absurdity have been many members of Congress who have defied the arguments put forth by all Big Four auditors, all members of the Financial Accounting Standards Board and virtually all investment professionals.

  I'm enclosing an op-ed piece I wrote for *The Washington Post* describing a truly breathtaking bill that was passed 312-111 by the House last summer. Thanks to Senator Richard Shelby, the Senate didn't ratify the House's foolishness. And, to his great credit, Bill Donaldson, the investor-minded Chairman of the SEC, has stood firm against massive political pressure, generated by the check-waving CEOs who first muscled Congress in 1993 about the issue of option accounting and then repeated the tactic last year.

  Because the attempts to obfuscate the stock-option issue continue, it's worth pointing out that no one – neither the FASB, nor investors generally, nor I – are talking about restricting the use of options in any way. Indeed, my successor at Berkshire may well receive much of his pay via options, albeit logically-structured ones in respect to 1) an appropriate strike price, 2) an escalation in price that reflects the retention of earnings, and 3) a ban on his quickly disposing of any shares purchased through options. We cheer arrangements that motivate managers, whether these be cash bonuses or options. And if a company is truly receiving value for the options it issues, we see no reason why recording their cost should cut down on their use.

  The simple fact is that certain CEOs know their own compensation would be far more rationally determined if options were expensed. They also suspect that their stock would sell at a lower price if realistic accounting were employed, meaning that they would reap less in the market when they unloaded their personal holdings. To these CEOs such unpleasant prospects are a fate to be fought with all the resources they have at hand – even though the funds they use in that fight normally don't belong to them, but are instead put up by their shareholders.

  Option-expensing is scheduled to become mandatory on June 15th. You can therefore expect intensified efforts to stall or emasculate this rule between now and then. Let your Congressman and Senators know what you think on this issue.

The Annual Meeting

There are two changes this year concerning the annual meeting. First, we have scheduled the meeting for the last Saturday in April (the 30th), rather than the usual first Saturday in May. This year Mother's Day falls on May 8, and it would be unfair to ask the employees of Borsheim's and Gorat's to take care of us at that special time – so we've moved everything up a week. Next year we'll return to our regular timing, holding the meeting on May 6, 2006.

Additionally, we are changing the sequence of events on meeting day, April 30. Just as always, the doors will open at the Qwest Center at 7 a.m. and the movie will be shown at 8:30. At 9:30, however, we will go directly to the question and answer period, which (allowing for lunch at the Qwest's stands) will last until 3:00. Then, after a short recess, Charlie and I will convene the annual meeting at 3:15.

We have made this change because a number of shareholders complained last year about the time consumed by two speakers who advocated proposals of limited interest to the majority of the audience – and who were no doubt relishing their chance to talk to a captive group of about 19,500. With our new procedure, those shareholders who wish to hear it all can stick around for the formal meeting and those who don't can leave – or better yet shop.

There will be plenty of opportunity for that pastime in the vast exhibition hall that adjoins the meeting area. Kelly Muchemore, the Flo Ziegfeld of Berkshire, put on a magnificent shopping extravaganza last year, and she says that was just a warm-up for this year. (Kelly, I am delighted to report, is getting married in October. I'm giving her away and suggested that she make a little history by holding the wedding at the annual meeting. She balked, however, when Charlie insisted that he be the ringbearer.)

Again we will showcase a 2,100 square foot Clayton home (featuring Acme brick, Shaw carpet, Johns Manville insulation, MiTek fasteners, Carefree awnings and NFM furniture). Take a tour through the home. Better yet, buy it.

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a special shareholder discount (usually 8%). This special offer is permitted by 45 of the 50 jurisdictions in which we operate. Bring the details of your existing insurance and check out whether we can save you money.

On Saturday, at the Omaha airport, we will have the usual array of aircraft from NetJets® available for your inspection. Stop by the NetJets booth at the Qwest to learn about viewing these planes. Come to Omaha by bus; leave in your new plane.

The Bookworm shop did a terrific business last year selling Berkshire-related books. Displaying 18 titles, they sold 2,920 copies for $61,000. Since we charge the shop no rent (I must be getting soft), it gives shareholders a 20% discount. This year I've asked The Bookworm to add Graham Allison's *Nuclear Terrorism: The Ultimate Preventable Catastrophe*, a must-read for those concerned with the safety of our country. In addition, the shop will premiere *Poor Charlie's Almanack*, a book compiled by Peter Kaufman. Scholars have for too long debated whether Charlie is the reincarnation of Ben Franklin. This book should settle the question.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. They do a terrific job for us each year, and I thank them for it.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" pricing. We initiated this special event at NFM eight years ago, and sales during the "Weekend" grew from $5.3 million in 1997 to $25.1 million in 2004 (up 45%

from a year earlier). Every year has set a new record, and on Saturday of last year, we had the largest single-day sales in NFM's history – $6.1 million.

To get the discount, you must make your purchases between Thursday, April 28 and Monday, May 2 inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but that, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m. to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m. we are having a special affair for shareholders only. I'll be there, eating barbeque and drinking Coke.

Borsheim's – the largest jewelry store in the country except for Tiffany's Manhattan store – will have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 10 p.m. on Friday, April 29. The second, the main gala, will be from 9 a.m. to 4 p.m. on Sunday, May 1. On Saturday, we will be open until 6 p.m.

We will have huge crowds at Borsheim's throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 25 through Saturday, May 7. During that period, just identify yourself as a shareholder through your meeting credentials or a brokerage statement.

Borsheim's operates on a gross margin that is fully twenty percentage points below that of its major rivals, even before the shareholders' discount. Last year, business over the weekend increased 73% from 2003, setting a record that will be tough to beat. Show me it can be done.

In a tent outside of Borsheim's, Patrick Wolff, twice U.S. chess champion, will take on all comers in groups of six – blindfolded. Additionally, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play with our shareholders on Sunday afternoon. They plan to keep their eyes *open* – but Bob never sorts his cards, even when playing for a national championship.

Gorat's – my favorite steakhouse – will again be open exclusively for Berkshire shareholders on Sunday, May 1, and will be serving from 4 p.m. until 10 p.m. Please remember that to come to Gorat's on that day, you must have a reservation. To make one, call 402-551-3733 on April 1 (*but not before*). If Sunday is sold out, try Gorat's on one of the other evenings you will be in town. Enhance your reputation as an epicure by ordering, as I do, a rare T-bone with a double helping of hash browns.

We will again have a special reception from 4:00 to 5:30 on Saturday afternoon for shareholders who have come from outside of North America. Every year our meeting draws many people from around the globe, and Charlie and I want to be sure we personally greet those who have come so far. Last year we enjoyed meeting more than 400 of you including at least 100 from Australia. Any shareholder who comes from other than the U.S. or Canada will be given a special credential and instructions for attending this function.

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Charlie and I are lucky. We have jobs that we love and are helped every day in a myriad of ways by talented and cheerful associates. No wonder we tap-dance to work. But nothing is more fun for us than getting together with our shareholder-partners at Berkshire's annual meeting. So join us on April 30th at the Qwest for our annual Woodstock for Capitalists.

February 28, 2005

Warren E. Buffett
Chairman of the Board

Note: The following table appears in the printed Annual Report on the facing page of the Chairman's Letter

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
2004	10.5	10.9	(.4)
2005	6.4	4.9	1.5
Average Annual Gain — 1965-2005	21.5	10.3	11.2
Overall Gain — 1964-2005	305,134	5,583	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our gain in net worth during 2005 was $5.6 billion, which increased the per-share book value of both our Class A and Class B stock by 6.4%. Over the last 41 years (that is, since present management took over) book value has grown from $19 to $59,377, a rate of 21.5% compounded annually.*

Berkshire had a decent year in 2005. We initiated five acquisitions (two of which have yet to close) and most of our operating subsidiaries prospered. Even our insurance business in its entirety did well, though Hurricane Katrina inflicted record losses on both Berkshire and the industry. We estimate our loss from Katrina at $2.5 billion – and her ugly sisters, Rita and Wilma, cost us an additional $.9 billion.

Credit GEICO – and its brilliant CEO, Tony Nicely – for our stellar insurance results in a disaster-ridden year. One statistic stands out: In just two years, GEICO improved its productivity by *32%*. Remarkably, employment fell by 4% even as policy count grew by 26% – and more gains are in store. When we drive unit costs down in such a dramatic manner, we can offer ever-greater value to our customers. The payoff: Last year, GEICO gained market-share, earned commendable profits and strengthened its brand. If you have a new son or grandson in 2006, name him Tony.

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My goal in writing this report is to give you the information you need to estimate Berkshire's intrinsic value. I say "estimate" because calculations of intrinsic value, though all-important, are necessarily imprecise and often seriously wrong. The more uncertain the future of a business, the more possibility there is that the calculation will be wildly off-base. (For an explanation of intrinsic value, see pages 77 – 78.) Here Berkshire has some advantages: a wide variety of relatively-stable earnings streams, combined with great liquidity and minimum debt. These factors mean that Berkshire's intrinsic value can be more precisely calculated than can the intrinsic value of most companies.

Yet if precision is aided by Berkshire's financial characteristics, the job of calculating intrinsic value has been made more complex by the mere presence of so many earnings streams. Back in 1965, when we owned only a small textile operation, the task of calculating intrinsic value was a snap. Now we own 68 distinct businesses with widely disparate operating and financial characteristics. This array of unrelated enterprises, coupled with our massive investment holdings, makes it impossible for you to simply examine our consolidated financial statements and arrive at an informed estimate of intrinsic value.

We have attempted to ease this problem by clustering our businesses into four logical groups, each of which we discuss later in this report. In these discussions, we will provide the key figures for both the group and its important components. Of course, the value of Berkshire may be either greater or less than the sum of these four parts. The outcome depends on whether our many units function better or worse by being part of a larger enterprise and whether capital allocation improves or deteriorates when it is under the direction of a holding company. In other words, does Berkshire ownership bring anything to the party, or would our shareholders be better off if they directly owned shares in each of our 68 businesses? These are important questions but ones that you will have to answer for yourself.

Before we look at our individual businesses, however, let's review two sets of figures that show where we've come from and where we are now. The first set is the amount of investments (including cash and cash-equivalents) we own on a per-share basis. In making this calculation, we exclude investments held in our finance operation because these are largely offset by borrowings:

*****All figures used in this report apply to Berkshire's A shares, the successor to the only stock that the company had outstanding before 1996. The B shares have an economic interest equal to 1/30th that of the A.

Year	Per-Share Investments*
1965	$ 4
1975	159
1985	2,407
1995	21,817
2005	$74,129
Compound Growth Rate 1965-2005	28.0%
Compound Growth Rate 1995-2005	13.0%

*Net of minority interests

In addition to these marketable securities, which with minor exceptions are held in our insurance companies, we own a wide variety of non-insurance businesses. Below, we show the pre-tax earnings (excluding goodwill amortization) of these businesses, again on a per-share basis:

Year	Per-Share Earnings*
1965	$ 4
1975	4
1985	52
1995	175
2005	$2,441
Compound Growth Rate 1965-2005	17.2%
Compound Growth Rate 1995-2005	30.2%

*Pre-tax and net of minority interests

When growth rates are under discussion, it will pay you to be suspicious as to why the beginning and terminal years have been selected. If either year was aberrational, any calculation of growth will be distorted. In particular, a base year in which earnings were poor can produce a breathtaking, but meaningless, growth rate. In the table above, however, the base year of 1965 was abnormally *good*; Berkshire earned more money in that year than it did in all but one of the previous ten.

As you can see from the two tables, the comparative growth rates of Berkshire's two elements of value have changed in the last decade, a result reflecting our ever-increasing emphasis on business acquisitions. Nevertheless, Charlie Munger, Berkshire's Vice Chairman and my partner, and I want to increase the figures in *both* tables. In this ambition, we hope – metaphorically – to avoid the fate of the elderly couple who had been romantically challenged for some time. As they finished dinner on their 50th anniversary, however, the wife – stimulated by soft music, wine and candlelight – felt a long-absent tickle and demurely suggested to her husband that they go upstairs and make love. He agonized for a moment and then replied, "I can do one or the other, but not both."

Acquisitions

Over the years, our current businesses, in aggregate, should deliver modest growth in operating earnings. But they will not in themselves produce truly satisfactory gains. We will need major acquisitions to get that job done.

In this quest, 2005 was encouraging. We agreed to five purchases: two that were completed last year, one that closed after yearend and two others that we expect to close soon. None of the deals involve the issuance of Berkshire shares. That's a crucial, but often ignored, point: When a management proudly acquires another company for stock, the shareholders of the acquirer are concurrently selling part of their interest in everything they own. I've made this kind of deal a few times myself – and, on balance, my actions have cost you money.

Here are last year's purchases:

- On June 30 we bought Medical Protective Company ("MedPro"), a 106-year-old medical malpractice insurer based in Fort Wayne. Malpractice insurance is tough to underwrite and has proved to be a graveyard for many insurers. MedPro nevertheless should do well. It will have the attitudinal advantage that all Berkshire insurers share, wherein underwriting discipline trumps all other goals. Additionally, as part of Berkshire, MedPro has financial strength far exceeding that of its competitors, a quality assuring doctors that long-to-settle claims will not end up back on their doorstep because their insurer failed. Finally, the company has a smart and energetic CEO, Tim Kenesey, who instinctively thinks like a Berkshire manager.

- Forest River, our second acquisition, closed on August 31. A couple of months earlier, on June 21, I received a two-page fax telling me – point by point – why Forest River met the acquisition criteria we set forth on page 25 of this report. I had not before heard of the company, a recreational vehicle manufacturer with $1.6 billion of sales, nor of Pete Liegl, its owner and manager. But the fax made sense, and I immediately asked for more figures. These came the next morning, and that afternoon I made Pete an offer. On June 28, we shook hands on a deal.

  Pete is a remarkable entrepreneur. Some years back, he sold his business, then far smaller than today, to an LBO operator who promptly began telling him how to run the place. Before long, Pete left, and the business soon sunk into bankruptcy. Pete then repurchased it. You can be sure that *I* won't be telling Pete how to manage his operation.

  Forest River has 60 plants, 5,400 employees and has consistently gained share in the RV business, while also expanding into other areas such as boats. Pete is 61 – and definitely in an acceleration mode. Read the piece from *RV Business* that accompanies this report, and you'll see why Pete and Berkshire are made for each other.

- On November 12, 2005, an article ran in The Wall Street Journal dealing with Berkshire's unusual acquisition and managerial practices. In it Pete declared, "It was easier to sell my business than to renew my driver's license."

  In New York, Cathy Baron Tamraz read the article, and it struck a chord. On November 21, she sent me a letter that began, "As president of Business Wire, I'd like to introduce you to my company, as I believe it fits the profile of Berkshire Hathaway subsidiary companies as detailed in a recent Wall Street Journal article."

  By the time I finished Cathy's two-page letter, I felt Business Wire and Berkshire were a fit. I particularly liked her penultimate paragraph: "We run a tight ship and keep unnecessary spending under wraps. No secretaries or management layers here. Yet we'll invest big dollars to gain a technological advantage and move the business forward."

  I promptly gave Cathy a call, and before long Berkshire had reached agreement with Business Wire's controlling shareholder, Lorry Lokey, who founded the company in 1961 (and who had just made Cathy CEO). I love success stories like Lorry's. Today 78, he has built a company that disseminates information in 150 countries for 25,000 clients. His story, like those of many entrepreneurs who have selected Berkshire as a home for their life's work, is an example of what can happen when a good idea, a talented individual and hard work converge.

- In December we agreed to buy 81% of Applied Underwriters, a company that offers a combination of payroll services and workers' compensation insurance to small businesses. A majority of Applied's customers are located in California.

In 1998, though, when the company had 12 employees, it acquired an Omaha-based operation with 24 employees that offered a somewhat-similar service. Sid Ferenc and Steve Menzies, who have built Applied's remarkable business, concluded that Omaha had many advantages as an operational base – a brilliant insight, I might add – and today 400 of the company's 479 employees are located here.

Less than a year ago, Applied entered into a large reinsurance contract with Ajit Jain, the extraordinary manager of National Indemnity's reinsurance division. Ajit was impressed by Sid and Steve, and they liked Berkshire's method of operation. So we decided to join forces. We are pleased that Sid and Steve retain 19% of Applied. They started on a shoestring only 12 years ago, and it will be fun to see what they can accomplish with Berkshire's backing.

- Last spring, MidAmerican Energy, our 80.5% owned subsidiary, agreed to buy PacifiCorp, a major electric utility serving six Western states. An acquisition of this sort requires many regulatory approvals, but we've now obtained these and expect to close this transaction soon. Berkshire will then buy $3.4 billion of MidAmerican's common stock, which MidAmerican will supplement with $1.7 billion of borrowing to complete the purchase. You can't expect to earn outsized profits in regulated utilities, but the industry offers owners the opportunity to deploy large sums at fair returns – and therefore, it makes good sense for Berkshire. A few years back, I said that we hoped to make some very large purchases in the utility field. Note the plural – we'll be looking for more.

In addition to buying these new operations, we continue to make "bolt-on" acquisitions. Some aren't so small: Shaw, our carpet operation, spent about $550 million last year on two purchases that furthered its vertical integration and should improve its profit margin in the future. XTRA and Clayton Homes also made value-enhancing acquisitions.

Unlike many business buyers, Berkshire has no "exit strategy." We buy to keep. We do, though, have an entrance strategy, looking for businesses in this country or abroad that meet our six criteria and are available at a price that will produce a reasonable return. If you have a business that fits, give me a call. Like a hopeful teenage girl, I'll be waiting by the phone.

Insurance

Let's now talk about our four sectors and start with insurance, our core business. What counts here is the amount of "float" and its cost over time.

For new readers, let me explain. "Float" is money that doesn't belong to us but that we temporarily hold. Most of our float arises because (1) premiums are paid upfront though the service we provide – insurance protection – is delivered over a period that usually covers a year and; (2) loss events that occur today do not always result in our immediately paying claims, because it sometimes takes many years for losses to be reported (asbestos losses would be an example), negotiated and settled. The $20 million of float that came with our 1967 entry into insurance has now increased – both by way of internal growth and acquisitions – to $49 billion.

Float is wonderful – *if* it doesn't come at a high price. Its cost is determined by underwriting results, meaning how the expenses and losses we will ultimately pay compare with the premiums we have received. When an insurer earns an underwriting profit – as has been the case at Berkshire in about half of the 39 years we have been in the insurance business – float is better than free. In such years, we are actually paid for holding other people's money. For most insurers, however, life has been far more difficult: In aggregate, the property-casualty industry almost invariably operates at an underwriting loss. When that loss is large, float becomes expensive, sometimes devastatingly so.

In 2004 our float cost us less than nothing, and I told you that we had a chance – absent a mega-catastrophe – of no-cost float in 2005. But we *had* the mega-cat, and as a specialist in that coverage, Berkshire suffered hurricane losses of $3.4 billion. Nevertheless, our float was costless in 2005 because of the superb results we had in our other insurance activities, particularly at GEICO.

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Auto policies in force grew by 12.1% at GEICO, a gain increasing its market share of U.S. private passenger auto business from about 5.6% to about 6.1%. Auto insurance is a big business: Each share-point equates to $1.6 billion in sales.

While our brand strength is not quantifiable, I believe it also grew significantly. When Berkshire acquired control of GEICO in 1996, its annual advertising expenditures were $31 million. Last year we were up to $502 million. And I can't wait to spend more.

Our advertising works because we have a great story to tell: More people can save money by insuring with us than is the case with any other national carrier offering policies to all comers. (Some specialized auto insurers do particularly well for applicants fitting into their niches; also, because our national competitors use rating systems that differ from ours, they will sometimes beat our price.) Last year, we achieved by far the highest conversion rate – the percentage of internet and phone quotes turned into sales – in our history. This is powerful evidence that our prices are more attractive relative to the competition than ever before. Test us by going to GEICO.com or by calling 800-847-7536. Be sure to indicate you are a shareholder because that fact will often qualify you for a discount.

I told you last year about GEICO's entry into New Jersey in August, 2004. Drivers in that state love us. Our retention rate there for new policyholders is running higher than in any other state, and by sometime in 2007, GEICO is likely to become the third largest auto insurer in New Jersey. There, as elsewhere, our low costs allow low prices that lead to steady gains in profitable business.

That simple formula immediately impressed me 55 years ago when I first discovered GEICO. Indeed, at age 21, I wrote an article about the company – it's reproduced on page 24 – when its market value was $7 million. As you can see, I called GEICO "The Security I Like Best." And that's what I still call it.

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We have major reinsurance operations at General Re and National Indemnity. The former is run by Joe Brandon and Tad Montross, the latter by Ajit Jain. Both units performed well in 2005 considering the extraordinary hurricane losses that battered the industry.

It's an open question whether atmospheric, oceanic or other causal factors have dramatically changed the frequency or intensity of hurricanes. Recent experience is worrisome. We know, for instance, that in the 100 years before 2004, about 59 hurricanes of Category 3 strength, or greater, hit the Southeastern and Gulf Coast states, and that only three of these were Category 5s. We further know that in 2004 there were three Category 3 storms that hammered those areas and that these were followed by four more in 2005, one of them, Katrina, the most destructive hurricane in industry history. Moreover, there were three Category 5s near the coast last year that fortunately weakened before landfall.

Was this onslaught of more frequent and more intense storms merely an anomaly? Or was it caused by changes in climate, water temperature or other variables we don't fully understand? And could these factors be developing in a manner that will soon produce disasters dwarfing Katrina?

Joe, Ajit and I don't know the answer to these all-important questions. What we do know is that our ignorance means we must follow the course prescribed by Pascal in his famous wager about the existence of God. As you may recall, he concluded that since he didn't know the answer, his personal gain/loss ratio dictated an affirmative conclusion.

So guided, we've concluded that we should now write mega-cat policies only at prices far higher than prevailed last year – and then only with an aggregate exposure that would not cause us distress if shifts in some important variable produce far more costly storms in the near future. To a lesser degree, we felt this way after 2004 – and cut back our writings when prices didn't move. Now our caution has intensified. If prices seem appropriate, however, we continue to have both the ability and the appetite to be the largest writer of mega-cat coverage in the world.

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Our smaller insurers, with MedPro added to the fold, delivered truly outstanding results last year. However, what you see in the table below does not do full justice to their performance. That's because we increased the loss reserves of MedPro by about $125 million immediately after our purchase.

No one knows with any precision what amount will be required to pay the claims we inherited. Medical malpractice insurance is a "long-tail" line, meaning that claims often take many years to settle. In addition, there are other losses that have occurred, but that we won't even hear about for some time. One thing, though, we have learned – the hard way – after many years in the business: Surprises in insurance are far from symmetrical. You are lucky if you get one that is pleasant for every ten that go the other way. Too often, however, insurers react to looming loss problems with optimism. They behave like the fellow in a switchblade fight who, after his opponent has taken a mighty swipe at his throat, exclaimed, "You never touched me." His adversary's reply: "Just wait until you try to shake your head."

Excluding the reserves we added for prior periods, MedPro wrote at an underwriting profit. And our other primary companies, in aggregate, had an underwriting profit of $324 million on $1,270 million of volume. This is an extraordinary result, and our thanks go to Rod Eldred of Berkshire Hathaway Homestate Companies, John Kizer of Central States Indemnity, Tom Nerney of U. S. Liability, Don Towle of Kansas Bankers Surety and Don Wurster of National Indemnity.

Here's the overall tally on our underwriting and float for each major sector of insurance:

	(in $ millions)			
	Underwriting Profit (Loss)		*Yearend Float*	
Insurance Operations	*2005*	*2004*	*2005*	*2004*
General Re	$(334)	$ 3	$22,920	$23,120
B-H Reinsurance	(1,069)	417	16,233	15,278
GEICO	1,221	970	6,692	5,960
Other Primary	235*	161	3,442	1,736
Total	$ 53	$1,551	$49,287	$46,094

*Includes MedPro from June 30, 2005.

Regulated Utility Business

We have an 80.5% (fully diluted) interest in MidAmerican Energy Holdings, which owns a wide variety of utility operations. The largest of these are (1) Yorkshire Electricity and Northern Electric, whose 3.7 million electric customers make it the third largest distributor of electricity in the U.K.; (2) MidAmerican Energy, which serves 706,000 electric customers, primarily in Iowa; and (3) Kern River and Northern Natural pipelines, which carry 7.8% of the natural gas consumed in the U.S. When our PacifiCorp acquisition closes, we will add 1.6 million electric customers in six Western states, with Oregon and Utah providing us the most business. This transaction will increase MidAmerican's revenues by $3.3 billion and its assets by $14.1 billion.

The Public Utility Holding Company Act ("PUHCA") was repealed on August 8, 2005, a milestone that allowed Berkshire to convert its MidAmerican preferred stock into voting common shares on February 9, 2006. This conversion ended a convoluted corporate arrangement that PUHCA had forced upon us. Now we have 83.4% of both the common stock and the votes at MidAmerican, which allows us to consolidate the company's income for financial accounting and tax purposes. Our true economic interest, however, is the aforementioned 80.5%, since there are options outstanding that are sure to be exercised within a few years and that upon exercise will dilute our ownership.

Though our voting power has increased dramatically, the dynamics of our four-party ownership have not changed at all. We view MidAmerican as a partnership among Berkshire, Walter Scott, and two terrific managers, Dave Sokol and Greg Abel. It's unimportant how many votes each party has; we will make major moves only when we are unanimous in thinking them wise. Five years of working with Dave, Greg and Walter have underscored my original belief: Berkshire couldn't have better partners.

You will notice that this year we have provided you with two balance sheets, one representing our actual figures per GAAP on December 31, 2005 (which does *not* consolidate MidAmerican) and one that reflects the subsequent conversion of our preferred. All future financial reports of Berkshire will include MidAmerican's figures.

Somewhat incongruously, MidAmerican owns the second largest real estate brokerage firm in the U.S. And it's a gem. The parent company's name is HomeServices of America, but our 19,200 agents operate through 18 locally-branded firms. Aided by three small acquisitions, we participated in $64 billion of transactions last year, up 6.5% from 2004.

Currently, the white-hot market in residential real estate of recent years is cooling down, and that should lead to additional acquisition possibilities for us. Both we and Ron Peltier, the company's CEO, expect HomeServices to be far larger a decade from now.

Here are some key figures on MidAmerican's operations:

	Earnings (in $ millions)	
	2005	*2004*
U.K. utilities	$ 308	$ 326
Iowa utility	288	268
Pipelines	309	288
HomeServices	148	130
Other (net)	107	172
Income (loss) from discontinued zinc project	8	(579)
Earnings before corporate interest and taxes	1,168	605
Interest, other than to Berkshire	(200)	(212)
Interest on Berkshire junior debt	(157)	(170)
Income tax	(248)	(53)
Net earnings	$ 563	$ 170
Earnings applicable to Berkshire*	$ 523	$ 237
Debt owed to others	10,296	10,528
Debt owed to Berkshire	1,289	1,478

*Includes interest earned by Berkshire (net of related income taxes) of $102 in 2005 and $110 in 2004.

Finance and Financial Products

The star of our finance sector is Clayton Homes, masterfully run by Kevin Clayton. He does not owe his brilliant record to a rising tide: The manufactured-housing business has been disappointing since Berkshire purchased Clayton in 2003. Industry sales have stagnated at 40-year lows, and the recent uptick from Katrina-related demand will almost certainly be short-lived. In recent years, many industry participants have suffered losses, and only Clayton has earned significant money.

In this brutal environment Clayton has bought a large amount of manufactured-housing loans from major banks that found them unprofitable and difficult to service. Clayton's operating expertise and Berkshire's financial resources have made this an excellent business for us and one in which we are preeminent. We presently service $17 billion of loans, compared to $5.4 billon at the time of our purchase. Moreover, Clayton now owns $9.6 billion of its servicing portfolio, a position built up almost entirely since Berkshire entered the picture.

To finance this portfolio, Clayton borrows money from Berkshire, which in turn borrows the same amount publicly. For the use of its credit, Berkshire charges Clayton a one percentage-point markup on its borrowing cost. In 2005, the cost to Clayton for this arrangement was $83 million. That amount is included in "Other" income in the table on the facing page, and Clayton's earnings of $416 million are after deducting this payment.

On the manufacturing side, Clayton has also been active. To its original base of twenty plants, it first added twelve more in 2004 by way of the bankruptcy purchase of Oakwood, which just a few years earlier was one of the largest companies in the business. Then in 2005 Clayton purchased Karsten, a four-plant operation that greatly strengthens Clayton's position on the West Coast.

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Long ago, Mark Twain said: "A man who tries to carry a cat home by its tail will learn a lesson that can be learned in no other way." If Twain were around now, he might try winding up a derivatives business. After a few days, he would opt for cats.

We lost $104 million pre-tax last year in our continuing attempt to exit Gen Re's derivative operation. Our aggregate losses since we began this endeavor total $404 million.

Originally we had 23,218 contracts outstanding. By the start of 2005 we were down to 2,890. You might expect that our losses would have been stemmed by this point, but the blood has kept flowing. Reducing our inventory to 741 contracts last year cost us the $104 million mentioned above.

Remember that the rationale for establishing this unit in 1990 was Gen Re's wish to meet the needs of insurance clients. Yet one of the contracts we liquidated in 2005 had a term of 100 years! It's difficult to imagine what "need" such a contract could fulfill except, perhaps, the need of a compensation-conscious trader to have a long-dated contract on his books. Long contracts, or alternatively those with multiple variables, are the most difficult to mark to market (the standard procedure used in accounting for derivatives) and provide the most opportunity for "imagination" when traders are estimating their value. Small wonder that traders promote them.

A business in which huge amounts of compensation flow from assumed numbers is obviously fraught with danger. When two traders execute a transaction that has several, sometimes esoteric, variables and a far-off settlement date, their respective firms must subsequently value these contracts whenever they calculate their earnings. A given contract may be valued at one price by Firm A and at another by Firm B. You can bet that the valuation differences – and I'm personally familiar with several that were *huge* – tend to be tilted in a direction favoring higher earnings at each firm. It's a strange world in which two parties can carry out a paper transaction that each can promptly report as profitable.

I dwell on our experience in derivatives each year for two reasons. One is personal and unpleasant. The hard fact is that I have cost you a lot of money by not moving immediately to close down

Gen Re's trading operation. Both Charlie and I knew at the time of the Gen Re purchase that it was a problem and told its management that we wanted to exit the business. It was my responsibility to make sure that happened. Rather than address the situation head on, however, I wasted several years while we attempted to sell the operation. That was a doomed endeavor because no realistic solution could have extricated us from the maze of liabilities that was going to exist for decades. Our obligations were particularly worrisome because their potential to explode could not be measured. Moreover, if severe trouble occurred, we knew it was likely to correlate with problems elsewhere in financial markets.

So I failed in my attempt to exit painlessly, and in the meantime more trades were put on the books. Fault me for dithering. (Charlie calls it thumb-sucking.) When a problem exists, whether in personnel or in business operations, the time to act is *now*.

The second reason I regularly describe our problems in this area lies in the hope that our experiences may prove instructive for managers, auditors and regulators. In a sense, we are a canary in this business coal mine and should sing a song of warning as we expire. The number and value of derivative contracts outstanding in the world continues to mushroom and is now a multiple of what existed in 1998, the last time that financial chaos erupted.

Our experience should be particularly sobering because we were a better-than-average candidate to exit gracefully. Gen Re was a relatively minor operator in the derivatives field. It has had the good fortune to unwind its supposedly liquid positions in a benign market, all the while free of financial or other pressures that might have forced it to conduct the liquidation in a less-than-efficient manner. Our accounting in the past was conventional and actually thought to be conservative. Additionally, we know of no bad behavior by anyone involved.

It could be a different story for others in the future. Imagine, if you will, one or more firms (troubles often spread) with positions that are many multiples of ours attempting to liquidate in chaotic markets and under extreme, and well-publicized, pressures. This is a scenario to which much attention should be given now rather than after the fact. The time to have considered – and improved – the reliability of New Orleans' levees was *before* Katrina.

When we finally wind up Gen Re Securities, my feelings about its departure will be akin to those expressed in a country song, "My wife ran away with my best friend, and I sure miss him a lot."

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Below are the results of our various finance and financial products activities:

	(in $ millions)			
	Pre-Tax Earnings		*Interest-Bearing Liabilities*	
	2005	*2004*	*2005*	*2004*
Trading – ordinary income	$ 200	$ 264	$1,061	$5,751
Gen Re Securities (loss)	(104)	(44)	2,617*	5,437*
Life and annuity operation	11	(57)	2,461	2,467
Value Capital (loss)	(33)	30	N/A	N/A
Leasing operations	173	92	370	391
Manufactured-housing finance (Clayton)	416	192	9,299	3,636
Other	159	107	N/A	N/A
Income before capital gains	822	584		
Trading – capital gains (losses)	(234)	1,750		
Total	$ 588	$2,334		

*Includes all liabilities

Manufacturing, Service and Retailing Operations

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/05 (in $ millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 1,004	Notes payable	$ 1,469
Accounts and notes receivable	3,287	Other current liabilities	5,371
Inventory	4,143	Total current liabilities	6,840
Other current assets	342		
Total current assets	8,776		
Goodwill and other intangibles	9,260	Deferred taxes	338
Fixed assets	7,148	Term debt and other liabilities	2,188
Other assets	1,021	Equity	16,839
	$26,205		$26,205

Earnings Statement (in $ millions)

	2005	*2004*	*2003*
Revenues	$46,896	$44,142	$32,106
Operating expenses (including depreciation of $699 in 2005, $676 in 2004 and $605 in 2003)	44,190	41,604	29,885
Interest expense (net)	83	57	64
Pre-tax earnings	2,623	2,481	2,157
Income taxes	977	941	813
Net income	$ 1,646	$ 1,540	$ 1,344

This eclectic collection, which sells products ranging from Dilly Bars to fractional interests in Boeing 737s, earned a very respectable 22.2% on average tangible net worth last year. It's noteworthy also that these operations used only minor financial leverage in achieving that return. Clearly, we own some terrific businesses. We purchased many of them, however, at substantial premiums to net worth – a point reflected in the goodwill item shown on the balance sheet – and that fact reduces the earnings on our average *carrying* value to 10.1%.

Here are the pre-tax earnings for the larger categories or units.

	Pre-Tax Earnings (in $ millions)	
	2005	*2004*
Building Products	$ 751	$ 643
Shaw Industries	485	466
Apparel & Footwear	348	325
Retailing of Jewelry, Home Furnishings and Candy	257	215
Flight Services	120	191
McLane	217	228
Other businesses	445	413
	$2,623	$2,481

- In both our building-products companies and at Shaw, we continue to be hit by rising costs for raw materials and energy. Most of these operations are significant users of oil (or more specifically, petrochemicals) and natural gas. And prices for these commodities have soared.

  We, likewise, have raised prices on many products, but there are often lags before increases become effective. Nevertheless, both our building-products operations and Shaw delivered respectable results in 2005, a fact attributable to their strong business franchises and able managements.

- In apparel, our largest unit, Fruit of the Loom, again increased earnings and market-share. You know, of course, of our leadership position in men's and boys' underwear, in which we account for about 48.7% of the sales recorded by mass-marketers (Wal-Mart, Target, etc.). That's up from 44.2% in 2002, when we acquired the company. Operating from a smaller base, we have made still greater gains in intimate apparel for women and girls that is sold by the mass-marketers, climbing from 13.7% of their sales in 2002 to 24.7% in 2005. A gain like that in a major category doesn't come easy. Thank John Holland, Fruit's extraordinary CEO, for making this happen.

- I told you last year that Ben Bridge (jewelry) and R. C. Willey (home furnishings) had same-store sales gains far above the average of their industries. You might think that blow-out figures in one year would make comparisons difficult in the following year. But Ed and Jon Bridge at their operation and Scott Hymas at R. C. Willey were more than up to this challenge. Ben Bridge had a 6.6% same-store gain in 2005, and R. C. Willey came in at 9.9%.

  Our never-on-Sunday approach at R. C. Willey continues to overwhelm seven-day competitors as we roll out stores in new markets. The Boise store, about which I was such a skeptic a few years back, had a 21% gain in 2005, coming off a 10% gain in 2004. Our new Reno store, opened in November, broke out of the gate fast with sales that exceeded Boise's early pace, and we will begin business in Sacramento in June. If this store succeeds as I expect it to, Californians will see many more R. C. Willey stores in the years to come.

- In flight services, earnings improved at FlightSafety as corporate aviation continued its rebound. To support growth, we invest heavily in new simulators. Our most recent expansion, bringing us to 42 training centers, is a major facility at Farnborough, England that opened in September. When it is fully built out in 2007, we will have invested more than $100 million in the building and its 15 simulators. Bruce Whitman, FlightSafety's able CEO, makes sure that no competitor comes close to offering the breadth and depth of services that we do.

  Operating results at NetJets were a different story. I said last year that this business would earn money in 2005 – and I was dead wrong.

  Our European operation, it should be noted, showed both excellent growth and a reduced loss. Customer contracts there increased by 37%. We are the only fractional-ownership operation of any size in Europe, and our now-pervasive presence there is a key factor in making NetJets the worldwide leader in this industry.

  Despite a large increase in customers, however, our U.S. operation dipped far into the red. Its efficiency fell, and costs soared. We believe that our three largest competitors suffered similar problems, but each is owned by aircraft manufacturers that may think differently than we do about the necessity of making adequate profits. The *combined* value of the fleets managed by these three competitors, in any case, continues to be less valuable than the fleet that we operate.

  Rich Santulli, one of the most dynamic managers I've ever met, will solve our revenue/expense problem. He won't do it, however, in a manner that impairs the quality of the NetJets experience. Both he and I are committed to a level of service, security and safety that can't be matched by others.

- Our retailing category includes See's Candies, a company we bought early in 1972 (a date making it our oldest non-insurance business). At that time, Charlie and I immediately decided to put Chuck Huggins, then 46, in charge. Though we were new at the game of selecting managers, Charlie and I hit a home run with this appointment. Chuck's love for the customer and the brand permeated the organization, which in his 34-year tenure produced a more-than-tenfold increase in profits. This gain was achieved in an industry growing at best slowly and perhaps not at all. (Volume figures in this industry are hard to pin down.)

  At yearend, Chuck turned the reins at See's over to Brad Kinstler, who previously had served Berkshire well while running Cypress Insurance and Fechheimer's. It's unusual for us to move managers around, but Brad's record made him an obvious choice for the See's job. I hope Chuck and his wife, Donna, are at the annual meeting. If they are, shareholders can join Charlie and me in giving America's number one candy maker a richly-deserved round of applause.

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Every day, in countless ways, the competitive position of each of our businesses grows either weaker or stronger. If we are delighting customers, eliminating unnecessary costs and improving our products and services, we gain strength. But if we treat customers with indifference or tolerate bloat, our businesses will wither. On a daily basis, the effects of our actions are imperceptible; cumulatively, though, their consequences are enormous.

When our long-term competitive position improves as a result of these almost unnoticeable actions, we describe the phenomenon as "widening the moat." And doing that is essential if we are to have the kind of business we want a decade or two from now. We always, of course, hope to earn more money in the short-term. But when short-term and long-term conflict, widening the moat *must* take precedence. If a management makes bad decisions in order to hit short-term earnings targets, and consequently gets behind the eight-ball in terms of costs, customer satisfaction or brand strength, no amount of subsequent brilliance will overcome the damage that has been inflicted. Take a look at the dilemmas of managers in the auto and airline industries today as they struggle with the huge problems handed them by their predecessors. Charlie is fond of quoting Ben Franklin's "An ounce of prevention is worth a pound of cure." But sometimes no amount of cure will overcome the mistakes of the past.

Our managers focus on moat-widening – and are brilliant at it. Quite simply, they are passionate about their businesses. Usually, they were running those long before we came along; our only function since has been to stay out of the way. If you see these heroes – and our four heroines as well – at the annual meeting, thank them for the job they do for you.

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The attitude of our managers vividly contrasts with that of the young man who married a tycoon's only child, a decidedly homely and dull lass. Relieved, the father called in his new son-in-law after the wedding and began to discuss the future:

"Son, you're the boy I always wanted and never had. Here's a stock certificate for 50% of the company. You're my equal partner from now on."

"Thanks, dad."

"Now, what would you like to run? How about sales?"

"I'm afraid I couldn't sell water to a man crawling in the Sahara."

"Well then, how about heading human relations?"

"I really don't care for people."

"No problem, we have lots of other spots in the business. What would you like to do?"

"Actually, nothing appeals to me. Why don't you just buy me out?"

Investments

We show below our common stock investments. Those that had a market value of more than $700 million at the end of 2005 are itemized.

			12/31/05	
Shares	*Company*	*Percentage of Company Owned*	*Cost**	*Market*
			(in $ millions)	
151,610,700	American Express Company	12.2	$1,287	$ 7,802
30,322,137	Ameriprise Financial, Inc.	12.1	183	1,243
43,854,200	Anheuser-Busch Cos., Inc.	5.6	2,133	1,884
200,000,000	The Coca-Cola Company	8.4	1,299	8,062
6,708,760	M&T Bank Corporation	6.0	103	732
48,000,000	Moody's Corporation	16.2	499	2,948
2,338,961,000	PetroChina "H" shares (or equivalents)	1.3	488	1,915
100,000,000	The Procter & Gamble Company	3.0	940	5,788
19,944,300	Wal-Mart Stores, Inc.	0.5	944	933
1,727,765	The Washington Post Company	18.0	11	1,322
95,092,200	Wells Fargo & Company	5.7	2,754	5,975
1,724,200	White Mountains Insurance	16.0	369	963
	Others		4,937	7,154
	Total Common Stocks		$15,947	$46,721

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required.

A couple of last year's changes in our portfolio occurred because of corporate events: Gillette was merged into Procter & Gamble, and American Express spun off Ameriprise. In addition, we substantially increased our holdings in Wells Fargo, a company that Dick Kovacevich runs brilliantly, and established positions in Anheuser-Busch and Wal-Mart.

Expect no miracles from our equity portfolio. Though we own major interests in a number of strong, highly-profitable businesses, they are not selling at anything like bargain prices. As a group, they may double in value in ten years. The likelihood is that their per-share earnings, in aggregate, will grow 6-8% per year over the decade and that their stock prices will more or less match that growth. (Their managers, of course, think my expectations are too modest – and I hope they're right.)

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The P&G-Gillette merger, closing in the fourth quarter of 2005, required Berkshire to record a $5.0 billion pre-tax capital gain. This bookkeeping entry, dictated by GAAP, is meaningless from an economic standpoint, and you should ignore it when you are evaluating Berkshire's 2005 earnings. We didn't intend to sell our Gillette shares before the merger; we don't intend to sell our P&G shares now; and we incurred no tax when the merger took place.

It's hard to overemphasize the importance of who is CEO of a company. Before Jim Kilts arrived at Gillette in 2001, the company was struggling, having particularly suffered from capital-allocation blunders. In the major example, Gillette's acquisition of Duracell cost Gillette shareholders billions of dollars, a loss never made visible by conventional accounting. Quite simply, what Gillette received in business value in this acquisition was not equivalent to what it gave up. (Amazingly, this most fundamental of yardsticks is almost always ignored by both managements and their investment bankers when acquisitions are under discussion.)

Upon taking office at Gillette, Jim quickly instilled fiscal discipline, tightened operations and energized marketing, moves that dramatically increased the intrinsic value of the company. Gillette's merger with P&G then expanded the potential of both companies. For his accomplishments, Jim was paid very well – but he earned every penny. (This is no academic evaluation: As a 9.7% owner of Gillette, Berkshire in effect paid that proportion of his compensation.) Indeed, it's difficult to overpay the *truly* extraordinary CEO of a giant enterprise. But this species is rare.

Too often, executive compensation in the U.S. is ridiculously out of line with performance. That won't change, moreover, because the deck is stacked against investors when it comes to the CEO's pay. The upshot is that a mediocre-or-worse CEO – aided by his handpicked VP of human relations and a consultant from the ever-accommodating firm of Ratchet, Ratchet and Bingo – all too often receives gobs of money from an ill-designed compensation arrangement.

Take, for instance, ten year, fixed-price options (and who wouldn't?). If Fred Futile, CEO of Stagnant, Inc., receives a bundle of these – let's say enough to give him an option on 1% of the company – his self-interest is clear: He should skip dividends entirely and instead use all of the company's earnings to repurchase stock.

Let's assume that under Fred's leadership Stagnant lives up to its name. In each of the ten years after the option grant, it earns $1 billion on $10 billion of net worth, which initially comes to $10 per share on the 100 million shares then outstanding. Fred eschews dividends and regularly uses all earnings to repurchase shares. If the stock constantly sells at ten times earnings per share, it will have appreciated 158% by the end of the option period. That's because repurchases would reduce the number of shares to 38.7 million by that time, and earnings per share would thereby increase to $25.80. Simply by withholding earnings from owners, Fred gets very rich, making a cool $158 million, despite the business itself improving not at all. Astonishingly, Fred could have made more than $100 million if Stagnant's earnings had *declined* by 20% during the ten-year period.

Fred can also get a splendid result for himself by paying no dividends and deploying the earnings he withholds from shareholders into a variety of disappointing projects and acquisitions. Even if these initiatives deliver a paltry 5% return, Fred will still make a bundle. Specifically – with Stagnant's p/e ratio remaining unchanged at ten – Fred's option will deliver him $63 million. Meanwhile, his shareholders will wonder what happened to the "alignment of interests" that was supposed to occur when Fred was issued options.

A "normal" dividend policy, of course – one-third of earnings paid out, for example – produces less extreme results but still can provide lush rewards for managers who achieve nothing.

CEOs understand this math and know that every dime paid out in dividends reduces the value of all outstanding options. I've never, however, seen this manager-owner conflict referenced in proxy materials that request approval of a fixed-priced option plan. Though CEOs invariably preach *internally* that capital comes at a cost, they somehow forget to tell shareholders that fixed-price options give them capital that is free.

It doesn't have to be this way: It's child's play for a board to design options that give effect to the automatic build-up in value that occurs when earnings are retained. But – surprise, surprise – options of that kind are almost never issued. Indeed, the very thought of options with strike prices that are adjusted for retained earnings seems foreign to compensation "experts," who are nevertheless encyclopedic about every management-friendly plan that exists. ("Whose bread I eat, his song I sing.")

Getting fired can produce a particularly bountiful payday for a CEO. Indeed, he can "earn" more in that single day, while cleaning out his desk, than an American worker earns in a lifetime of cleaning toilets. Forget the old maxim about nothing succeeding like success: Today, in the executive suite, the all-too-prevalent rule is that nothing succeeds like *failure*.

Huge severance payments, lavish perks and outsized payments for ho-hum performance often occur because comp committees have become slaves to comparative data. The drill is simple: Three or so directors – *not chosen by chance* – are bombarded for a few hours before a board meeting with pay statistics that perpetually ratchet upwards. Additionally, the committee is told about new perks that other managers are receiving. In this manner, outlandish "goodies" are showered upon CEOs simply because of a corporate version of the argument we all used when children: "But, Mom, all the other kids have one." When comp committees follow this "logic," yesterday's most egregious excess becomes today's baseline.

Comp committees should adopt the attitude of Hank Greenberg, the Detroit slugger and a boyhood hero of mine. Hank's son, Steve, at one time was a player's agent. Representing an outfielder in negotiations with a major league club, Steve sounded out his dad about the size of the signing bonus he should ask for. Hank, a true pay-for-performance guy, got straight to the point, "What did he hit last year?" When Steve answered ".246," Hank's comeback was immediate: "Ask for a uniform."

(Let me pause for a brief confession: In criticizing comp committee behavior, I don't speak as a true insider. Though I have served as a director of twenty public companies, only one CEO has put me on his comp committee. Hmmmm . . .)

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My views on America's long-term problem in respect to trade imbalances, which I have laid out in previous reports, remain unchanged. My conviction, however, cost Berkshire $955 million pre-tax in 2005. That amount is included in our earnings statement, a fact that illustrates the differing ways in which GAAP treats gains and losses. When we have a long-term position in stocks or bonds, year-to-year changes in value are reflected in our balance sheet but, as long as the asset is not sold, are rarely reflected in earnings. For example, our Coca-Cola holdings went from $1 billion in value early on to $13.4 billion at yearend 1998 and have since declined to $8.1 billion – with none of these moves affecting our earnings statement. Long-term currency positions, however, are daily marked to market and therefore have an effect on earnings in every reporting period. From the date we first entered into currency contracts, we are $2.0 billion in the black.

We reduced our direct position in currencies somewhat during 2005. We partially offset this change, however, by purchasing equities whose prices are denominated in a variety of foreign currencies and that earn a large part of their profits internationally. Charlie and I prefer this method of acquiring non-dollar exposure. That's largely because of changes in interest rates: As U.S. rates have risen relative to those of the rest of the world, holding most foreign currencies now involves a significant negative "carry." The carry aspect of our direct currency position indeed cost us money in 2005 and is likely to do so again in 2006. In contrast, the ownership of foreign equities is likely, over time, to create a positive carry – perhaps a substantial one.

The underlying factors affecting the U.S. current account deficit continue to worsen, and no letup is in sight. Not only did our trade deficit – the largest and most familiar item in the current account – hit an all-time high in 2005, but we also can expect a second item – the balance of investment income – to soon turn negative. As foreigners increase their ownership of U.S. assets (or of claims against us) relative to U.S. investments abroad, these investors will begin earning more on their holdings than we do on ours. Finally, the third component of the current account, unilateral transfers, is always negative.

The U.S., it should be emphasized, is extraordinarily rich and will get richer. As a result, the huge imbalances in its current account may continue for a long time without their having noticeable deleterious effects on the U.S. economy or on markets. I doubt, however, that the situation will forever remain benign. Either Americans address the problem soon in a way we select, or at some point the problem will likely address us in an unpleasant way of its own.

How to Minimize Investment Returns

It's been an easy matter for Berkshire and other owners of American equities to prosper over the years. Between December 31, 1899 and December 31, 1999, to give a really long-term example, the Dow rose from 66 to 11,497. (Guess what annual growth rate is required to produce this result; the surprising answer is at the end of this section.) This huge rise came about for a simple reason: Over the century American businesses did extraordinarily well and investors rode the wave of their prosperity. Businesses continue to do well. But now shareholders, through a series of self-inflicted wounds, are in a major way cutting the returns they will realize from their investments.

The explanation of how this is happening begins with a fundamental truth: With unimportant exceptions, such as bankruptcies in which some of a company's losses are borne by creditors, *the most that owners in aggregate can earn between now and Judgment Day is what their businesses in aggregate earn.* True, by buying and selling that is clever or lucky, investor A may take more than his share of the pie at the expense of investor B. And, yes, all investors *feel* richer when stocks soar. But an owner can exit only by having someone take his place. If one investor sells high, another must buy high. For owners as a whole, there is simply no magic – no shower of money from outer space – that will enable them to extract wealth from their companies beyond that created by the companies themselves.

Indeed, owners must earn less than their businesses earn because of "frictional" costs. And that's my point: These costs are now being incurred in amounts that will cause shareholders to earn *far* less than they historically have.

To understand how this toll has ballooned, imagine for a moment that all American corporations are, and always will be, owned by a single family. We'll call them the Gotrocks. After paying taxes on dividends, this family – generation after generation – becomes richer by the aggregate amount earned by its companies. Today that amount is about $700 billion annually. Naturally, the family spends some of these dollars. But the portion it saves steadily compounds for its benefit. In the Gotrocks household everyone grows wealthier at the same pace, and all is harmonious.

But let's now assume that a few fast-talking Helpers approach the family and persuade each of its members to try to outsmart his relatives by buying certain of their holdings and selling them certain others. The Helpers – for a fee, of course – obligingly agree to handle these transactions. The Gotrocks still own all of corporate America; the trades just rearrange who owns what. So the family's annual gain in wealth diminishes, equaling the earnings of American business *minus* commissions paid. The more that family members trade, the smaller their share of the pie and the larger the slice received by the Helpers. This fact is not lost upon these broker-Helpers: Activity is their friend and, in a wide variety of ways, they urge it on.

After a while, most of the family members realize that they are not doing so well at this new "beat-my-brother" game. Enter another set of Helpers. These newcomers explain to each member of the Gotrocks clan that by himself he'll never outsmart the rest of the family. The suggested cure: "Hire a manager – yes, us – and get the job done professionally." These manager-Helpers continue to use the broker-Helpers to execute trades; the managers may even increase their activity so as to permit the brokers to prosper still more. Overall, a bigger slice of the pie now goes to the two classes of Helpers.

The family's disappointment grows. Each of its members is now employing professionals. Yet overall, the group's finances have taken a turn for the worse. The solution? More help, of course.

It arrives in the form of financial planners and institutional consultants, who weigh in to advise the Gotrocks on selecting manager-Helpers. The befuddled family welcomes this assistance. By now its members know they can pick neither the right stocks nor the right stock-pickers. Why, one might ask, should they expect success in picking the right consultant? But this question does not occur to the Gotrocks, and the consultant-Helpers certainly don't suggest it to them.

The Gotrocks, now supporting three classes of expensive Helpers, find that their results get worse, and they sink into despair. But just as hope seems lost, a fourth group – we'll call them the hyper-Helpers – appears. These friendly folk explain to the Gotrocks that their unsatisfactory results are occurring because the existing Helpers – brokers, managers, consultants – are not sufficiently motivated and are simply going through the motions. "What," the new Helpers ask, "can you expect from such a bunch of zombies?"

The new arrivals offer a breathtakingly simple solution: *Pay more money*. Brimming with self-confidence, the hyper-Helpers assert that huge contingent payments – in addition to stiff fixed fees – are what each family member must fork over in order to *really* outmaneuver his relatives.

The more observant members of the family see that some of the hyper-Helpers are really just manager-Helpers wearing new uniforms, bearing sewn-on sexy names like HEDGE FUND or PRIVATE EQUITY. The new Helpers, however, assure the Gotrocks that this change of clothing is all-important, bestowing on its wearers magical powers similar to those acquired by mild-mannered Clark Kent when he changed into his Superman costume. Calmed by this explanation, the family decides to pay up.

And that's where we are today: A record portion of the earnings that would go in their entirety to owners – if they all just stayed in their rocking chairs – is now going to a swelling army of Helpers. Particularly expensive is the recent pandemic of profit arrangements under which Helpers receive large portions of the winnings when they are smart or lucky, and leave family members with all of the losses – and large fixed fees to boot – when the Helpers are dumb or unlucky (or occasionally crooked).

A sufficient number of arrangements like this – heads, the Helper takes much of the winnings; tails, the Gotrocks lose and pay dearly for the privilege of doing so – may make it more accurate to call the family the Hadrocks. Today, in fact, the family's frictional costs of all sorts may well amount to 20% of the earnings of American business. In other words, the burden of paying Helpers may cause American equity investors, overall, to earn only 80% or so of what they would earn if they just sat still and listened to no one.

Long ago, Sir Isaac Newton gave us three laws of motion, which were the work of genius. But Sir Isaac's talents didn't extend to investing: He lost a bundle in the South Sea Bubble, explaining later, "I can calculate the movement of the stars, but not the madness of men." If he had not been traumatized by this loss, Sir Isaac might well have gone on to discover the Fourth Law of Motion*: For investors as a whole, returns decrease as motion increases.*

* * * * * * * * * * * *

Here's the answer to the question posed at the beginning of this section: To get very specific, the Dow increased from 65.73 to 11,497.12 in the 20th century, and that amounts to a gain of 5.3% compounded annually. (Investors would also have received dividends, of course.) To achieve an equal rate of gain in the 21st century, the Dow will have to rise by December 31, 2099 to – brace yourself – precisely 2,011,011.23. But I'm willing to settle for 2,000,000; six years into this century, the Dow has gained not at all.

Debt and Risk

As we consolidate MidAmerican, our new balance sheet may suggest that Berkshire has expanded its tolerance for borrowing. But that's not so. Except for token amounts, we shun debt, turning to it for only three purposes:

1) We occasionally use repos as a part of certain short-term investing strategies that incorporate ownership of U.S. government (or agency) securities. Purchases of this kind are highly opportunistic and involve only the most liquid of securities. A few years ago, we entered into several interesting transactions that have since been unwound or are running off. The offsetting debt has likewise been cut substantially and before long may be gone.

2) We borrow money against portfolios of interest-bearing receivables whose risk characteristics we understand. We did this in 2001 when we guaranteed $5.6 billion of bank debt to take over, in partnership with Leucadia, a bankrupt Finova (which held a broad range of receivables). All of that debt has been repaid. More recently, we have borrowed to finance a widely-diversified, predictably-performing portfolio of manufactured-home receivables managed by Clayton. Alternatively, we could "securitize" – that is, sell – these receivables, but retain the servicing of them. If we followed this procedure, which is common in the industry, we would not show the debt that we do on our balance sheet, and we would also accelerate the earnings we report. In the end, however, we would earn less money. Were market variables to change so as to favor securitization (an unlikely event), we could sell part of our portfolio and eliminate the related debt. Until then, we prefer better profits to better cosmetics.

3) At MidAmerican, we have substantial debt, but it is that company's obligation only. Though it will appear on our consolidated balance sheet, Berkshire does *not* guarantee it.

   Even so, this debt is unquestionably secure because it is serviced by MidAmerican's diversified stream of highly-stable utility earnings. If there were to be some bolt from the blue that hurt one of MidAmerican's utility properties, earnings from the others would still be more than ample to cover all debt requirements. Moreover, MidAmerican retains all of its earnings, an equity-building practice that is rare in the utility field.

   From a risk standpoint, it is far safer to have earnings from ten diverse and uncorrelated utility operations that cover interest charges by, say, a 2:1 ratio than it is to have far greater coverage provided by a single utility. A catastrophic event can render a single utility insolvent – witness what Katrina did to the local electric utility in New Orleans – no matter how conservative its debt policy. A geographical disaster – say, an earthquake in a Western state – can't have the same effect on MidAmerican. And even a worrier like Charlie can't think of an event that would systemically decrease utility earnings in any major way. Because of MidAmerican's ever-widening diversity of regulated earnings, it will always utilize major amounts of debt.

And that's about it. We are not interested in incurring any significant debt at Berkshire for acquisitions or operating purposes. Conventional business wisdom, of course, would argue that we are being too conservative and that there are added profits that could be safely earned if we injected moderate leverage into our balance sheet.

Maybe so. But many of Berkshire's hundreds of thousands of investors have a large portion of their net worth in our stock (among them, it should be emphasized, a large number of our board and key managers) and a disaster for the company would be a disaster for them. Moreover, there are people who have been permanently injured to whom we owe insurance payments that stretch out for fifty years or more. To these and other constituencies we have promised total security, whatever comes: financial panics, stock-exchange closures (an extended one occurred in 1914) or even domestic nuclear, chemical or biological attacks.

We are quite willing to accept huge risks. Indeed, more than any other insurer, we write high-limit policies that are tied to single catastrophic events. We also own a large investment portfolio whose market value could fall dramatically and quickly under certain conditions (as happened on October 19, 1987). Whatever occurs, though, Berkshire will have the net worth, the earnings streams and the liquidity to handle the problem with ease.

Any other approach is dangerous. Over the years, a number of very smart people have learned the hard way that a long string of impressive numbers multiplied by a single zero always equals zero. That is not an equation whose effects I would like to experience personally, and I would like even less to be responsible for imposing its penalties upon others.

Management Succession

As owners, you are naturally concerned about whether I will insist on continuing as CEO after I begin to fade and, if so, how the board will handle that problem. You also want to know what happens if I should die tonight.

That second question is easy to answer. Most of our many businesses have strong market positions, significant momentum, and terrific managers. The special Berkshire culture is deeply ingrained throughout our subsidiaries, and these operations won't miss a beat when I die.

Moreover, we have three managers at Berkshire who are reasonably young and fully capable of being CEO. Any of the three would be much better at certain management aspects of my job than I. On the minus side, none has my crossover experience that allows me to be comfortable making decisions in either the business arena or in investments. That problem will be solved by having another person in the organization handle marketable securities. That's an interesting job at Berkshire, and the new CEO will have no problem in hiring a talented individual to do it. Indeed, that's what we have done at GEICO for 26 years, and our results have been terrific.

Berkshire's board has fully discussed each of the three CEO candidates and has unanimously agreed on the person who should succeed me if a replacement were needed today. The directors stay updated on this subject and could alter their view as circumstances change – new managerial stars may emerge and present ones will age. The important point is that the directors know now – and will always know in the future – exactly what they will do when the need arises.

The other question that must be addressed is whether the Board will be prepared to make a change if that need should arise not from my death but rather from my decay, particularly if this decay is accompanied by my delusionally thinking that I am reaching new peaks of managerial brilliance. That problem would not be unique to me. Charlie and I have faced this situation from time to time at Berkshire's subsidiaries. Humans age at greatly varying rates – but sooner or later their talents and vigor decline. Some managers remain effective well into their 80s – Charlie is a wonder at 82 – and others noticeably fade in their 60s. When their abilities ebb, so usually do their powers of self-assessment. Someone else often needs to blow the whistle.

When that time comes for me, our board will have to step up to the job. From a financial standpoint, its members are unusually motivated to do so. I know of no other board in the country in which the financial interests of directors are so completely aligned with those of shareholders. Few boards even come close. On a personal level, however, it is extraordinarily difficult for most people to tell someone, particularly a friend, that he or she is no longer capable.

If I become a candidate for that message, however, our board will be doing me a favor by delivering it. *Every* share of Berkshire that I own is destined to go to philanthropies, and I want society to reap the maximum good from these gifts and bequests. It would be a tragedy if the philanthropic potential of my holdings was diminished because my associates shirked their responsibility to (tenderly, I hope) show me the door. But don't worry about this. We have an outstanding group of directors, and they will always do what's right for shareholders.

And while we are on the subject, I feel terrific.

The Annual Meeting

Our meeting this year will be on Saturday, May 6. As always, the doors will open at the Qwest Center at 7 a.m., and the latest Berkshire movie will be shown at 8:30. At 9:30 we will go directly to the question-and-answer period, which (with a break for lunch at the Qwest's stands) will last until 3:00. Then, after a short recess, Charlie and I will convene the annual meeting at 3:15. This schedule worked well last year, because it let those who wanted to attend the formal session to do so, while freeing others to *shop*.

You certainly did your share in this respect last year. The 194,300 square foot hall adjoining the meeting area was filled with the products of Berkshire subsidiaries, and the 21,000 people who came to the meeting allowed every location to rack up sales records. Kelly Broz (neé Muchemore), the Flo Ziegfeld of Berkshire, orchestrates both this magnificent shopping extravaganza and the meeting itself. The exhibitors love her, and so do I. Kelly got married in October, and I gave her away. She asked me how I wanted to be listed in the wedding program. I replied "envious of the groom," and that's the way it went to press.

This year we will showcase two Clayton homes (featuring Acme brick, Shaw carpet, Johns Manville insulation, MiTek fasteners, Carefree awnings and NFM furniture). You will find that these homes, priced at $79,000 and $89,000, deliver excellent value. In fact, three shareholders came so firmly to that conclusion last year that they bought the $119,000 model we then showcased. Flanking the Clayton homes on the exhibition floor will be RVs from Forest River.

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a special shareholder discount (usually 8%). This special offer is permitted by 45 of the 50 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another, such as that given certain groups.) Bring the details of your existing insurance and check out whether we can save you money. For at least 50% of you, I believe we can. And while you're at it, sign up for the new GEICO credit card. It's the one I now use.

On Saturday, at the Omaha airport, we will have the usual array of aircraft from NetJets® available for your inspection. Stop by the NetJets booth at the Qwest to learn about viewing these planes. Come to Omaha by bus; leave in your new plane.

The Bookworm boutique at the Qwest broke all records last year selling Berkshire-related books. An amazing 3,500 of these were *Poor Charlie's Almanack*, the collected wisdom of my partner. This means that a copy was sold every 9 seconds. And for good reason: You will never find a book with more useful ideas. Word-of-mouth recommendations have caused Charlie's first printing of 20,500 copies to sell out, and we will therefore have a revised and expanded edition on sale at our meeting. Among the other 22 titles and DVDs available last year at the Bookworm, 4,597 copies were sold for $84,746. Our shareholders are a bookseller's dream.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. Carol Pedersen, who handles these matters, does a terrific job for us each year, and I thank her for it.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" pricing. We initiated this special event at NFM nine years ago, and sales during the "Weekend" grew from $5.3 million in 1997 to $27.4 million in 2005 (up 9% from a year earlier). I get goose bumps just thinking about this volume.

To obtain the discount, you must make your purchases between Thursday, May 4 and Monday, May 8 inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but that, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m. to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m., we are having a special affair for shareholders only. I'll be there, eating barbeque, drinking Coke, and counting sales.

Borsheim's again will have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 10 p.m. on Friday, May 5. The second, the main gala, will be from 9 a.m. to 4 p.m. on Sunday, May 7. On Saturday, we will be open until 6 p.m.

We will have huge crowds at Borsheim's throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, May 1 through Saturday, May 13. During that period, just identify yourself as a shareholder through your meeting credentials or a brokerage statement.

Borsheim's operates on a gross margin that, even before the shareholders' discount, is fully twenty percentage points below that of its major rivals. Last year, our shareholder-period business increased 9% from 2004, which came on top of a 73% gain the year before. The store sold 5,000 Berkshire Monopoly games – and then ran out. We've learned: Plenty will be in stock this year.

In a tent outside of Borsheim's, Patrick Wolff, twice U.S. chess champion, will take on all comers in groups of six – blindfolded. Additionally, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play with our shareholders on Sunday afternoon. They plan to keep their eyes *open* – but Bob never sorts his cards, even when playing for a national championship.

Gorat's – my favorite steakhouse – will again be open exclusively for Berkshire shareholders on Sunday, May 7, and will be serving from 4 p.m. until 10 p.m. Please remember that to come to Gorat's on that day, you must have a reservation. To make one, call 402-551-3733 on April 1 (*but not before*).

In this school year, about 35 university classes will come to Omaha for sessions with me. I take almost all – in aggregate, perhaps 2,000 students – to lunch at Gorat's. And they love it. To learn why, come join us on Sunday.

We will again have a special reception from 4:00 to 5:30 on Saturday afternoon for shareholders who have come from outside of North America. Every year our meeting draws many people from around the globe, and Charlie and I want to be sure we personally greet those who have come so far. Last year we enjoyed meeting more than 400 of you from many dozens of countries. Any shareholder who comes from other than the U.S. or Canada will be given a special credential and instructions for attending this function.

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Charlie and I are extraordinarily lucky. We were born in America; had terrific parents who saw that we got good educations; have enjoyed wonderful families and great health; and came equipped with a "business" gene that allows us to prosper in a manner hugely disproportionate to other people who contribute as much or more to our society's well-being. Moreover, we have long had jobs that we love, in which we are helped every day in countless ways by talented and cheerful associates. No wonder we tap-dance to work. But nothing is more fun for us than getting together with our shareholder-partners at Berkshire's annual meeting. So join us on May 6th at the Qwest for our annual Woodstock for Capitalists. We'll see you there.

February 28, 2006

Warren E. Buffett
Chairman of the Board

Note: The following table appears in the printed Annual Report on the facing page of the Chairman's Letter and is referred to in that letter.

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
2004	10.5	10.9	(.4)
2005	6.4	4.9	1.5
2006	18.4	15.8	2.6
Compounded Annual Gain – 1965-2006	21.4%	10.4%	11.0
Overall Gain – 1964-2006	361,156%	6,479%	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our gain in net worth during 2006 was $16.9 billion, which increased the per-share book value of both our Class A and Class B stock by 18.4%. Over the last 42 years (that is, since present management took over) book value has grown from $19 to $70,281, a rate of 21.4% compounded annually.*

We believe that $16.9 billion is a record for a one-year gain in net worth – more than has ever been booked by *any* American business, leaving aside boosts that have occurred because of mergers (e.g., AOL's purchase of Time Warner). Of course, Exxon Mobil and other companies earn far more than Berkshire, but their earnings largely go to dividends and/or repurchases, rather than to building net worth.

All that said, a confession about our 2006 gain is in order. Our most important business, insurance, benefited from a large dose of luck: Mother Nature, bless her heart, went on vacation. After hammering us with hurricanes in 2004 and 2005 – storms that caused us to lose a bundle on super-cat insurance – she just vanished. Last year, the red ink from this activity turned black – *very* black.

In addition, the great majority of our 73 businesses did outstandingly well in 2006. Let me focus for a moment on one of our largest operations, GEICO. What management accomplished there was simply extraordinary.

As I've told you before, Tony Nicely, GEICO's CEO, went to work at the company 45 years ago, two months after turning 18. He became CEO in 1992, and from then on the company's growth exploded. In addition, Tony has delivered staggering productivity gains in recent years. Between yearend 2003 and yearend 2006, the number of GEICO policies increased from 5.7 million to 8.1 million, a jump of 42%. Yet during that same period, the company's employees (measured on a fulltime-equivalent basis) *fell* 3.5%. So productivity grew 47%. And GEICO didn't start fat.

That remarkable gain has allowed GEICO to maintain its all-important position as a low-cost producer, even though it has dramatically increased advertising expenditures. Last year GEICO spent $631 million on ads, up from $238 million in 2003 (and up from $31 million in 1995, when Berkshire took control). Today, GEICO spends far more on ads than any of its competitors, even those much larger. We will continue to raise the bar.

Last year I told you that if you had a new son or grandson to be sure to name him Tony. But Don Keough, a Berkshire director, recently had a better idea. After reviewing GEICO's performance in 2006, he wrote me, "Forget births. Tell the shareholders to immediately change the names of their *present* children to Tony or Antoinette." Don signed his letter "Tony."

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Charlie Munger – my partner and Berkshire's vice chairman – and I run what has turned out to be a big business, one with 217,000 employees and annual revenues approaching $100 billion. We certainly didn't plan it that way. Charlie began as a lawyer, and I thought of myself as a security analyst. Sitting in those seats, we both grew skeptical about the ability of big entities of any type to function well. Size seems to make many organizations slow-thinking, resistant to change and smug. In Churchill's words: "We shape our buildings, and afterwards our buildings shape us." Here's a telling fact: Of the ten non-oil companies having the largest market capitalization in 1965 – titans such as General Motors, Sears, DuPont and Eastman Kodak – only one made the 2006 list.

*****All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are $1/30^{th}$ of those shown for the A.

In fairness, we've seen plenty of successes as well, some truly outstanding. There are many giant-company managers whom I greatly admire; Ken Chenault of American Express, Jeff Immelt of G.E. and Dick Kovacevich of Wells Fargo come quickly to mind. But I don't think I could do the management job they do. And I know I wouldn't enjoy many of the duties that come with their positions – meetings, speeches, foreign travel, the charity circuit and governmental relations. For me, Ronald Reagan had it right: "It's probably true that hard work never killed anyone – but why take the chance?"

So I've taken the easy route, just sitting back and working through great managers who run their own shows. My only tasks are to cheer them on, sculpt and harden our corporate culture, and make major capital-allocation decisions. Our managers have returned this trust by working hard and effectively.

For their performance over the last 42 years – and particularly for 2006 – Charlie and I thank them.

Yardsticks

Charlie and I measure Berkshire's progress and evaluate its intrinsic value in a number of ways. No single criterion is effective in doing these jobs, and even an avalanche of statistics will not capture some factors that are important. For example, it's essential that we have managers much younger than I available to succeed me. Berkshire has never been in better shape in this regard – but I can't prove it to you with numbers.

There are two statistics, however, that are of real importance. The first is the amount of investments (including cash and cash-equivalents) that we own on a per-share basis. Arriving at this figure, we exclude investments held in our finance operation because these are largely offset by borrowings. Here's the record since present management acquired control of Berkshire:

Year	Per-Share Investments*
1965	$ 4
1975	159
1985	2,407
1995	21,817
2006	$80,636
Compound Growth Rate 1965-2006	27.5%
Compound Growth Rate 1995-2006	12.6%

*Net of minority interests

In our early years we put most of our retained earnings and insurance float into investments in marketable securities. Because of this emphasis, and because the securities we purchased generally did well, our growth rate in investments was for a long time quite high.

Over the years, however, we have focused more and more on the acquisition of operating businesses. Using our funds for these purchases has both slowed our growth in investments and accelerated our gains in pre-tax earnings from non-insurance businesses, the second yardstick we use. Here's how those earnings have looked:

Year	Pre-Tax Earnings Per Share*
1965	$ 4
1975	4
1985	52
1995	175
2006	$3,625
Compound Growth Rate 1965-2006	17.9%
Compound Growth Rate 1995-2006	31.7%

*Excluding purchase-accounting adjustments and net of minority interests

Last year we had a good increase in non-insurance earnings – 38%. Large gains from here on in, though, will come only if we are able to make major, *and sensible*, acquisitions. That will not be easy. We do, however, have one advantage: More and more, Berkshire has become "the buyer of choice" for business owners and managers. Initially, we were viewed that way only in the U.S. (and more often than not by private companies). We've long wanted, nonetheless, to extend Berkshire's appeal beyond U.S. borders. And last year, our globe-trotting finally got underway.

Acquisitions

We began 2006 by completing the three acquisitions pending at yearend 2005, spending about $6 billion for PacifiCorp, Business Wire and Applied Underwriters. All are performing very well.

The highlight of the year, however, was our July 5th acquisition of most of ISCAR, an Israeli company, and our new association with its chairman, Eitan Wertheimer, and CEO, Jacob Harpaz. The story here began on October 25, 2005, when I received a 1¼-page letter from Eitan, of whom I then knew nothing. The letter began, "I am writing to introduce you to ISCAR," and proceeded to describe a cutting-tool business carried on in 61 countries. Then Eitan wrote, "We have for some time considered the issues of generational transfer and ownership that are typical for large family enterprises, and have given much thought to ISCAR's future. Our conclusion is that Berkshire Hathaway would be the ideal home for ISCAR. We believe that ISCAR would continue to thrive as a part of your portfolio of businesses."

Overall, Eitan's letter made the quality of the company and the character of its management leap off the page. It also made me want to learn more, and in November, Eitan, Jacob and ISCAR's CFO, Danny Goldman, came to Omaha. A few hours with them convinced me that if we were to make a deal, we would be teaming up with extraordinarily talented managers who could be trusted to run the business after a sale with all of the energy and dedication that they had exhibited previously. However, having never bought a business based outside of the U.S. (though I had bought a number of foreign stocks), I needed to get educated on some tax and jurisdictional matters. With that task completed, Berkshire purchased 80% of ISCAR for $4 billion. The remaining 20% stays in the hands of the Wertheimer family, making it our valued partner.

ISCAR's products are small, consumable cutting tools that are used in conjunction with large and expensive machine tools. It's a business without magic except for that imparted by the people who run it. But Eitan, Jacob and their associates are true managerial magicians who constantly develop tools that make their customers' machines more productive. The result: ISCAR makes money because it enables its customers to make *more* money. There is no better recipe for continued success.

In September, Charlie and I, along with five Berkshire associates, visited ISCAR in Israel. We – and I mean every one of us – have never been more impressed with any operation. At ISCAR, as throughout Israel, brains and energy are ubiquitous. Berkshire shareholders are lucky to have joined with Eitan, Jacob, Danny and their talented associates.

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A few months later, Berkshire again became "the buyer of choice" in a deal brought to us by my friend, John Roach, of Fort Worth. John, many of you will remember, was Chairman of Justin Industries, which we bought in 2000. At that time John was helping John Justin, who was terminally ill, find a permanent home for his company. John Justin died soon after we bought Justin Industries, but it has since been run exactly as we promised him it would be.

Visiting me in November, John Roach brought along Paul Andrews, Jr., owner of about 80% of TTI, a Fort Worth distributor of electronic components. Over a 35-year period, Paul built TTI from $112,000 of sales to $1.3 billion. He is a remarkable entrepreneur and operator.

Paul, 64, loves running his business. But not long ago he happened to witness how disruptive the death of a founder can be both to a private company's employees and the owner's family. What starts out as disruptive, furthermore, often evolves into destructive. About a year ago, therefore, Paul began to think about selling TTI. His goal was to put his business in the hands of an owner he had carefully chosen, rather than allowing a trust officer or lawyer to conduct an auction after his death.

Paul rejected the idea of a "strategic" buyer, knowing that in the pursuit of "synergies," an owner of that type would be apt to dismantle what he had so carefully built, a move that would uproot hundreds of his associates (and perhaps wound TTI's business in the process). He also ruled out a private equity firm, which would very likely load the company with debt and then flip it as soon as possible.

That left Berkshire. Paul and I met on the morning of November 15th and made a deal before lunch. Later he wrote me: "After our meeting, I am confident that Berkshire is the right owner for TTI . . . I am proud of our past and excited about our future." And so are Charlie and I.

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We also made some "tuck-in" acquisitions during 2006 at Fruit of the Loom ("Fruit"), MiTek, CTB, Shaw and Clayton. Fruit made the largest purchases. First, it bought Russell Corp., a leading producer of athletic apparel and uniforms for about $1.2 billion (including assumed debt) and in December it agreed to buy the intimate apparel business of VF Corp. Together, these acquisitions add about $2.2 billion to Fruit's sales and bring with them about 23,000 employees.

Charlie and I love it when we can acquire businesses that can be placed under managers, such as John Holland at Fruit, who have already shown their stuff at Berkshire. MiTek, for example, has made 14 acquisitions since we purchased it in 2001, and Gene Toombs has delivered results from these deals far in excess of what he had predicted. In effect, we leverage the managerial talent already with us by these tuck-in deals. We will make many more.

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We continue, however, to need "elephants" in order for us to use Berkshire's flood of incoming cash. Charlie and I must therefore ignore the pursuit of mice and focus our acquisition efforts on much bigger game.

Our exemplar is the older man who crashed his grocery cart into that of a much younger fellow while both were shopping. The elderly man explained apologetically that he had lost track of his wife and was preoccupied searching for her. His new acquaintance said that by coincidence his wife had also wandered off and suggested that it might be more efficient if they jointly looked for the two women. Agreeing, the older man asked his new companion what his wife looked like. "She's a gorgeous blonde," the fellow answered, "with a body that would cause a bishop to go through a stained glass window, and she's wearing tight white shorts. How about yours?" The senior citizen wasted no words: "Forget her, we'll look for yours."

What *we* are looking for is described on page 25. If you have an acquisition candidate that fits, call me – day or night. And then watch me shatter a stained glass window.

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Now, let's examine the four major operating sectors of Berkshire. Lumping their financial figures together impedes analysis. So we'll look at them as four separate businesses, starting with the all–important insurance group.

Insurance

Next month marks the 40th anniversary of our entrance into the insurance business. It was on March 9, 1967, that Berkshire purchased National Indemnity and its companion company, National Fire & Marine, from Jack Ringwalt for $8.6 million.

Jack was a long-time friend of mine and an excellent, but somewhat eccentric, businessman. For about ten minutes every year he would get the urge to sell his company. But those moods – perhaps brought on by a tiff with regulators or an unfavorable jury verdict – quickly vanished.

In the mid-1960s, I asked investment banker Charlie Heider, a mutual friend of mine and Jack's, to alert me the next time Jack was "in heat." When Charlie's call came, I sped to meet Jack. We made a deal in a few minutes, with me waiving an audit, "due diligence" or anything else that would give Jack an opportunity to reconsider. We just shook hands, and that was that.

When we were due to close the purchase at Charlie's office, Jack was late. Finally arriving, he explained that he had been driving around looking for a parking meter with some unexpired time. That was a magic moment for me. I knew then that Jack was going to be my kind of manager.

When Berkshire purchased Jack's two insurers, they had "float" of $17 million. We've regularly offered a long explanation of float in earlier reports, which you can read on our website. Simply put, float is money we hold that is not ours but which we get to invest.

At the end of 2006, our float had grown to $50.9 billion, and we have since written a huge retroactive reinsurance contract with Equitas – which I will describe in the next section – that boosts float by another $7 billion. Much of the gain we've made has come through our acquisition of other insurers, but we've also had outstanding internal growth, particularly at Ajit Jain's amazing reinsurance operation. Naturally, I had no notion in 1967 that our float would develop as it has. There's much to be said for just putting one foot in front of the other every day.

The float from retroactive reinsurance contracts, of which we have many, automatically drifts down over time. Therefore, it will be difficult for us to increase float in the future unless we make new acquisitions in the insurance field. Whatever its size, however, the all-important *cost* of Berkshire's float over time is likely to be significantly below that of the industry, perhaps even falling to less than zero. Note the words "over time." There will be bad years periodically. You can be sure of that.

In 2006, though, everything went right in insurance – *really* right. Our managers – Tony Nicely (GEICO), Ajit Jain (B-H Reinsurance), Joe Brandon and Tad Montross (General Re), Don Wurster (National Indemnity Primary), Tom Nerney (U.S. Liability), Tim Kenesey (Medical Protective), Rod Eldred (Homestate Companies and Cypress), Sid Ferenc and Steve Menzies (Applied Underwriters), John Kizer (Central States) and Don Towle (Kansas Bankers Surety) – simply shot the lights out. When I recite their names, I feel as if I'm at Cooperstown, reading from the Hall of Fame roster. Of course, the overall insurance industry also had a terrific year in 2006. But our managers delivered results generally superior to those of their competitors.

Below is the tally on our underwriting and float for each major sector of insurance. Enjoy the view, because you won't soon see another like it.

	(in $ millions)			
	Underwriting Profit (Loss)		*Yearend Float*	
Insurance Operations	*2006*	*2005*	*2006*	*2005*
General Re	$ 526	$(334)	$22,827	$22,920
B-H Reinsurance	1,658	(1,069)	16,860	16,233
GEICO	1,314	1,221	7,171	6,692
Other Primary	340**	235*	4,029	3,442
Total	$3,838	$ 53	$50,887	$49,287

* Includes MedPro from June 30, 2005.

** Includes Applied Underwriters from May 19, 2006.

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In 2007, our results from the bread-and-butter lines of insurance will deteriorate, though I think they will remain satisfactory. The big unknown is super-cat insurance. Were the terrible hurricane seasons of 2004-05 aberrations? Or were they our planet's first warning that the climate of the 21st Century will differ materially from what we've seen in the past? If the answer to the second question is yes, 2006 will soon be perceived as a misleading period of calm preceding a series of devastating storms. These could rock the insurance industry. It's naïve to think of Katrina as anything close to a worst-case event.

Neither Ajit Jain, who manages our super-cat operation, nor I know what lies ahead. We do know that it would be a huge mistake to bet that evolving atmospheric changes are benign in their implications for insurers.

Don't think, however, that we have lost our taste for risk. We remain prepared to lose $6 billion in a single event, *if* we have been paid appropriately for assuming that risk. We are not willing, though, to take on even very small exposures at prices that don't reflect our evaluation of loss probabilities. Appropriate prices don't guarantee profits in any given year, but inappropriate prices most certainly guarantee eventual losses. Rates have recently fallen because a flood of capital has entered the super-cat field. We have therefore sharply reduced our wind exposures. Our behavior here parallels that which we employ in financial markets: Be fearful when others are greedy, and be greedy when others are fearful.

Lloyd's, Equitas and Retroactive Reinsurance

Last year – we are getting now to Equitas – Berkshire agreed to enter into a huge retroactive reinsurance contract, a policy that protects an insurer against losses that have already happened, but whose cost is not yet known. I'll give you details of the agreement shortly. But let's first take a journey through insurance history, following the route that led to our deal.

Our tale begins around 1688, when Edward Lloyd opened a small coffee house in London. Though no Starbucks, his shop was destined to achieve worldwide fame because of the commercial activities of its clientele – shipowners, merchants and venturesome British capitalists. As these parties sipped Edward's brew, they began to write contracts transferring the risk of a disaster at sea from the owners of ships and their cargo to the capitalists, who wagered that a given voyage would be completed without incident. These capitalists eventually became known as "underwriters at Lloyd's."

Though many people believe Lloyd's to be an insurance company, that is not the case. It is instead a *place* where many member-insurers transact business, just as they did centuries ago.

Over time, the underwriters solicited passive investors to join in syndicates. Additionally, the business broadened beyond marine risks into every imaginable form of insurance, including exotic coverages that spread the fame of Lloyd's far and wide. The underwriters left the coffee house, found grander quarters and formalized some rules of association. And those persons who passively backed the underwriters became known as "names."

Eventually, the names came to include many thousands of people from around the world, who joined expecting to pick up some extra change without effort or serious risk. True, prospective names were always solemnly told that they would have unlimited and everlasting liability for the consequences of their syndicate's underwriting – "down to the last cufflink," as the quaint description went. But that warning came to be viewed as perfunctory. Three hundred years of retained cufflinks acted as a powerful sedative to the names poised to sign up.

Then came asbestos. When its prospective costs were added to the tidal wave of environmental and product claims that surfaced in the 1980s, Lloyd's began to implode. Policies written decades earlier – and largely forgotten about – were developing huge losses. No one could intelligently estimate their total, but it was certain to be many tens of billions of dollars. The specter of unending and unlimited losses terrified existing names and scared away prospects. Many names opted for bankruptcy; some even chose suicide.

From these shambles, there came a desperate effort to resuscitate Lloyd's. In 1996, the powers that be at the institution allotted £11.1 billion to a new company, Equitas, and made it responsible for paying all claims on policies written before 1993. In effect, this plan pooled the misery of the many syndicates in trouble. Of course, the money allotted could prove to be insufficient – and if that happened, the names remained liable for the shortfall.

But the new plan, by concentrating all of the liabilities in one place, had the advantage of eliminating much of the costly intramural squabbling that went on among syndicates. Moreover, the pooling allowed claims evaluation, negotiation and litigation to be handled more intelligently than had been the case previously. Equitas embraced Ben Franklin's thinking: "We must all hang together, or assuredly we shall hang separately."

From the start, many people predicted Equitas would eventually fail. But as Ajit and I reviewed the facts in the spring of 2006 – 13 years after the last exposed policy had been written and after the payment of £11.3 billion in claims – we concluded that the patient was likely to survive. And so we decided to offer a huge reinsurance policy to Equitas.

Because plenty of imponderables continue to exist, Berkshire could not provide Equitas, and its 27,972 names, unlimited protection. But we said – and I'm simplifying – that if Equitas would give us $7.12 billion in cash and securities (this is the float I spoke about), we would pay all of its future claims and expenses up to $13.9 billion. That amount was $5.7 billion above what Equitas had recently guessed its ultimate liabilities to be. Thus the names received a huge – and almost certainly sufficient – amount of future protection against unpleasant surprises. Indeed the protection is so large that Equitas plans a cash payment to its thousands of names, an event few of them had ever dreamed possible.

And how will Berkshire fare? That depends on how much "known" claims will end up costing us, how many yet-to-be-presented claims will surface and what they will cost, how soon claim payments will be made and how much we earn on the cash we receive before it must be paid out. Ajit and I think the odds are in our favor. And should we be wrong, Berkshire can handle it.

Scott Moser, the CEO of Equitas, summarized the transaction neatly: "Names wanted to sleep easy at night, and we think we've just bought them the world's best mattress."

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Warning: It's time to eat your broccoli – I am now going to talk about accounting matters. I owe this to those Berkshire shareholders who love reading about debits and credits. I hope both of you find this discussion helpful. All others can skip this section; there will be no quiz.

Berkshire has done many retroactive transactions – in both number and amount a multiple of such policies entered into by any other insurer. We are the reinsurer of choice for these coverages because the obligations that are transferred to us – for example, lifetime indemnity and medical payments to be made to injured workers – may not be fully satisfied for 50 years or more. No other company can offer the certainty

that Berkshire can, in terms of guaranteeing the full and fair settlement of these obligations. This fact is important to the original insurer, policyholders and regulators.

The accounting procedure for retroactive transactions is neither well known nor intuitive. The best way for shareholders to understand it, therefore, is for us to simply lay out the debits and credits. Charlie and I would like to see this done more often. We sometimes encounter accounting footnotes about important transactions that leave us baffled, and we go away suspicious that the reporting company wished it that way. (For example, try comprehending transactions "described" in the old 10-Ks of Enron, even after you *know* how the movie ended.)

So let us summarize our accounting for the Equitas transaction. The major debits will be to Cash and Investments, Reinsurance Recoverable, and Deferred Charges for Reinsurance Assumed ("DCRA"). The major credit will be to Reserve for Losses and Loss Adjustment Expense. No profit or loss will be recorded at the inception of the transaction, but underwriting losses will thereafter be incurred annually as the DCRA asset is amortized downward. The amount of the annual amortization charge will be primarily determined by how our end-of-the-year estimates as to the timing and amount of future loss payments compare to the estimates made at the beginning of the year. Eventually, when the last claim has been paid, the DCRA account will be reduced to zero. That day is 50 years or more away.

What's important to remember is that retroactive insurance contracts always produce underwriting losses for us. Whether these losses are worth experiencing depends on whether the cash we have received produces investment income that exceeds the losses. Recently our DCRA charges have annually delivered $300 million or so of underwriting losses, which have been more than offset by the income we have realized through use of the cash we received as a premium. Absent new retroactive contracts, the amount of the annual charge would normally decline over time. After the Equitas transaction, however, the annual DCRA cost will initially increase to about $450 million a year. This means that our other insurance operations must generate at least that much underwriting gain for our overall float to be cost-free. That amount is quite a hurdle but one that I believe we will clear in many, if not most, years.

Aren't you glad that I promised you there would be no quiz?

Manufacturing, Service and Retailing Operations

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/06 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 1,543	Notes payable	$ 1,468
Accounts and notes receivable	3,793	Other current liabilities	6,635
Inventory	5,257	Total current liabilities	8,103
Other current assets	363		
Total current assets	10,956		
Goodwill and other intangibles	13,314	Deferred taxes	540
Fixed assets	8,934	Term debt and other liabilities	3,014
Other assets	1,168	Equity	22,715
	$34,372		$34,372

Earnings Statement (in millions)

	2006	*2005*	*2004*
Revenues	$52,660	$46,896	$44,142
Operating expenses (including depreciation of $823 in 2006, $699 in 2005 and $676 in 2004)	49,002	44,190	41,604
Interest expense	132	83	57
Pre-tax earnings	3,526*	2,623*	2,481*
Income taxes and minority interests	1,395	977	941
Net income	$ 2,131	$ 1,646	$ 1,540

*Does not include purchase-accounting adjustments.

This motley group, which sells products ranging from lollipops to motor homes, earned a pleasing 25% on average tangible net worth last year. It's noteworthy also that these operations used only minor financial leverage in achieving that return. Clearly we own some terrific businesses. We purchased many of them, however, at large premiums to net worth – a point reflected in the goodwill item shown on the balance sheet – and that fact reduces the earnings on our average *carrying* value to 10.8%.

Here are a few newsworthy items about companies in this sector:

- Bob Shaw, a remarkable entrepreneur who from a standing start built Shaw Industries into the country's largest carpet producer, elected last year, at age 75, to retire. To succeed him, Bob recommended Vance Bell, a 31-year veteran at Shaw, and Bob, as usual, made the right call. Weakness in housing has caused the carpet business to slow. Shaw, however, remains a powerhouse and a major contributor to Berkshire's earnings.

- MiTek, a manufacturer of connectors for roof trusses at the time we purchased it in 2001, is developing into a mini-conglomerate. At the rate it is growing, in fact, "mini" may soon be inappropriate. In purchasing MiTek for $420 million, we lent the company $200 million at 9% and bought $198 million of stock, priced at $10,000 per share. Additionally, 55 employees bought 2,200 shares for $22 million. Each employee paid *exactly* the same price that we did, in most cases borrowing money to do so.

  And are they ever glad they did! Five years later, MiTek's sales have tripled and the stock is valued at $71,699 per share. Despite its making 14 acquisitions, at a cost of $291 million, MiTek has paid off its debt to Berkshire and holds $35 million of cash. We celebrated the fifth anniversary of our purchase with a party in July. I told the group that it would be embarrassing if MiTek's stock price soared beyond that of Berkshire "A" shares. Don't be surprised, however, if that happens (though Charlie and I will try to make our shares a moving target).

- Not all of our businesses are destined to increase profits. When an industry's underlying economics are crumbling, talented management may slow the rate of decline. Eventually, though, eroding fundamentals will overwhelm managerial brilliance. (As a wise friend told me long ago, "If you want to get a reputation as a good businessman, be sure to get into a good business.") And fundamentals are definitely eroding in the newspaper industry, a trend that has caused the profits of our Buffalo News to decline. The skid will almost certainly continue.

  When Charlie and I were young, the newspaper business was as easy a way to make huge returns as existed in America. As one not-too-bright publisher famously said, "I owe my fortune to two great American institutions: monopoly and nepotism." No paper in a one-paper city, however bad the product or however inept the management, could avoid gushing profits.

  The industry's staggering returns could be simply explained. For most of the 20th Century, newspapers were the primary source of information for the American public. Whether the subject was sports, finance, or politics, newspapers reigned supreme. Just as important, their ads were the easiest way to find job opportunities or to learn the price of groceries at your town's supermarkets.

The great majority of families therefore felt the need for a paper every day, but understandably most didn't wish to pay for two. Advertisers preferred the paper with the most circulation, and readers tended to want the paper with the most ads and news pages. This circularity led to a law of the newspaper jungle: Survival of the Fattest.

Thus, when two or more papers existed in a major city (which was almost universally the case a century ago), the one that pulled ahead usually emerged as the stand-alone winner. After competition disappeared, the paper's pricing power in both advertising and circulation was unleashed. Typically, rates for both advertisers and readers would be raised annually – and the profits rolled in. For owners this was economic heaven. (Interestingly, though papers regularly – and often in a disapproving way – reported on the profitability of, say, the auto or steel industries, they never enlightened readers about their own Midas-like situation. Hmmm . . .)

As long ago as my 1991 letter to shareholders, I nonetheless asserted that this insulated world was changing, writing that "the media businesses . . . will prove considerably less marvelous than I, the industry, or lenders thought would be the case only a few years ago." Some publishers took umbrage at both this remark and other warnings from me that followed. Newspaper properties, moreover, continued to sell as if they were indestructible slot machines. In fact, many intelligent newspaper executives who regularly chronicled and analyzed important worldwide events were either blind or indifferent to what was going on under their noses.

Now, however, almost all newspaper owners realize that they are constantly losing ground in the battle for eyeballs. Simply put, if cable and satellite broadcasting, as well as the internet, had come along first, newspapers as we know them probably would never have existed.

In Berkshire's world, Stan Lipsey does a terrific job running the Buffalo News, and I am enormously proud of its editor, Margaret Sullivan. The News' penetration of its market is the highest among that of this country's large newspapers. We also do better financially than most metropolitan newspapers, even though Buffalo's population and business trends are not good. Nevertheless, this operation faces unrelenting pressures that will cause profit margins to slide.

True, we have the leading online news operation in Buffalo, and it will continue to attract more viewers and ads. However, the economic potential of a newspaper internet site – given the many alternative sources of information and entertainment that are free and only a click away – is at best a small fraction of that existing in the past for a print newspaper facing no competition.

For a local resident, ownership of a city's paper, like ownership of a sports team, still produces instant prominence. With it typically comes power and influence. These are ruboffs that appeal to many people with money. Beyond that, civic-minded, wealthy individuals may feel that local ownership will serve their community well. That's why Peter Kiewit bought the Omaha paper more than 40 years ago.

We are likely therefore to see non-economic individual buyers of newspapers emerge, just as we have seen such buyers acquire major sports franchises. Aspiring press lords should be careful, however: There's no rule that says a newspaper's revenues can't fall below its expenses and that losses can't mushroom. Fixed costs are high in the newspaper business, and that's bad news when unit volume heads south. As the importance of newspapers diminishes, moreover, the "psychic" value of possessing one will wane, whereas owning a sports franchise will likely retain its cachet.

Unless we face an irreversible cash drain, we will stick with the News, just as we've said that we would. (Read economic principle 11, on page 76.) Charlie and I love newspapers – we each read five a day – and believe that a free and energetic press is a key ingredient for maintaining a great democracy. We hope that some combination of print and online will ward off economic doomsday for newspapers, and we will work hard in Buffalo to develop a sustainable business model. I think we will be successful. But the days of lush profits from our newspaper are over.

- A *much* improved situation is emerging at NetJets, which sells and manages fractionally-owned aircraft. This company has never had a problem growing: Revenues from flight operations have increased 596% since our purchase in 1998. But profits had been erratic.

  Our move to Europe, which began in 1996, was particularly expensive. After five years of operation there, we had acquired only 80 customers. And by mid-year 2006 our cumulative pre-tax loss had risen to $212 million. But European demand has now exploded, with a net of 589 customers having been added in 2005-2006. Under Mark Booth's brilliant leadership, NetJets is now operating profitably in Europe, and we expect the positive trend to continue.

  Our U.S. operation also had a good year in 2006, which led to worldwide pre-tax earnings of $143 million at NetJets last year. We made this profit even though we suffered a loss of $19 million in the first quarter.

  Credit Rich Santulli, along with Mark, for this turnaround. Rich, like many of our managers, has no financial need to work. But you'd never know it. He's absolutely tireless – monitoring operations, making sales, and traveling the globe to constantly widen the already-enormous lead that NetJets enjoys over its competitors. Today, the value of the fleet we manage is far greater than that managed by our three largest competitors *combined*.

  There's a reason NetJets is the runaway leader: It offers the ultimate in safety and service. At Berkshire, and at a number of our subsidiaries, NetJets aircraft are an indispensable business tool. I also have a contract for personal use with NetJets and so do members of my family and most Berkshire directors. (None of us, I should add, gets a discount.) Once you've flown NetJets, returning to commercial flights is like going back to holding hands.

Regulated Utility Business

Berkshire has an 86.6% (fully diluted) interest in MidAmerican Energy Holdings, which owns a wide variety of utility operations. The largest of these are (1) Yorkshire Electricity and Northern Electric, whose 3.7 million electric customers make it the third largest distributor of electricity in the U.K.; (2) MidAmerican Energy, which serves 706,000 electric customers, primarily in Iowa; (3) Pacific Power and Rocky Mountain Power, serving about 1.7 million electric customers in six western states; and (4) Kern River and Northern Natural pipelines, which carry about 8% of the natural gas consumed in the U.S.

Our partners in ownership of MidAmerican are Walter Scott, and its two terrific managers, Dave Sokol and Greg Abel. It's unimportant how many votes each party has; we will make major moves only when we are unanimous in thinking them wise. Six years of working with Dave, Greg and Walter have underscored my original belief: Berkshire couldn't have better partners.

Somewhat incongruously, MidAmerican owns the second largest real estate brokerage firm in the U.S., HomeServices of America. This company operates through 20 locally-branded firms with 20,300 agents. Despite HomeServices' purchase of two operations last year, the company's overall volume fell 9% to $58 billion, and profits fell 50%.

The slowdown in residential real estate activity stems in part from the weakened lending practices of recent years. The "optional" contracts and "teaser" rates that have been popular have allowed borrowers to make payments in the early years of their mortgages that fall far short of covering normal interest costs. Naturally, there are few defaults when virtually nothing is required of a borrower. As a cynic has said, "A rolling loan gathers no loss." But payments *not* made add to principal, and borrowers who can't afford normal monthly payments early on are hit later with *above-normal* monthly obligations. This is the Scarlett O'Hara scenario: "I'll think about that tomorrow." For many home owners, "tomorrow" has now arrived. Consequently there is a huge overhang of offerings in several of HomeServices' markets.

Nevertheless, we will be seeking to purchase additional brokerage operations. A decade from now, HomeServices will almost certainly be much larger.

Here are some key figures on MidAmerican's operations:

	Earnings (in $ millions)	
	2006	*2005*
U.K. utilities	$ 338	$ 308
Iowa utility	348	288
Western utilities (acquired March 21, 2006)	356	N/A
Pipelines	376	309
HomeServices	74	148
Other (net)	226	115
Earnings before corporate interest and taxes	1,718	1,168
Interest, other than to Berkshire	(261)	(200)
Interest on Berkshire junior debt	(134)	(157)
Income tax	(407)	(248)
Net earnings	$ 916	$ 563
Earnings applicable to Berkshire*	$ 885	$ 523
Debt owed to others	16,946	10,296
Debt owed to Berkshire	1,055	1,289

*Includes interest earned by Berkshire (net of related income taxes) of $87 in 2006 and $102 in 2005.

Finance and Financial Products

You will be happy to hear – and I'm even happier – that this will be my last discussion of the losses at Gen Re's derivative operation. When we started to wind this business down early in 2002, we had 23,218 contracts outstanding. Now we have 197. Our cumulative pre-tax loss from this operation totals $409 million, but only $5 million occurred in 2006. Charlie says that if we had properly classified the $409 million on our 2001 balance sheet, it would have been labeled "Good Until Reached For." In any event, a Shakespearean thought – slightly modified – seems appropriate for the tombstone of this derivative business: "All's well that ends."

We've also wound up our investment in Value Capital. So earnings or losses from these two lines of business are making their final appearance in the table that annually appears in this section.

Clayton Homes remains an anomaly in the manufactured-housing industry, which last year recorded its lowest unit sales since 1962. Indeed, the industry's volume last year was only about one-third that of 1999. Outside of Clayton, I doubt if the industry, overall, made *any* money in 2006.

Yet Clayton earned $513 million pre-tax and paid Berkshire an additional $86 million as a fee for our obtaining the funds to finance Clayton's $10 billion portfolio of installment receivables. Berkshire's financial strength has clearly been of huge help to Clayton. But the driving force behind the company's success is Kevin Clayton. Kevin knows the business forward and backward, is a rational decision-maker and a joy to work with. Because of acquisitions, Clayton now employs 14,787 people, compared to 6,661 at the time of our purchase.

We have two leasing operations: CORT (furniture), run by Paul Arnold, and XTRA (truck trailers), run by Bill Franz. CORT's earnings improved significantly last year, and XTRA's remained at the high level attained in 2005. We continue to look for tuck-in acquisitions to be run by Paul or Bill, and also are open to ideas for new leasing opportunities.

Here's a breakdown of earnings in this sector:

	(in millions)			
	Pre-Tax Earnings		*Interest-Bearing Liabilities*	
	2006	*2005*	*2006*	*2005*
Trading – ordinary income	$ 274	$ 200	$ 600	$1,061
Gen Re Securities (loss)	(5)	(104)	1,204*	2,617*
Life and annuity operation	29	11	2,459	2,461
Value Capital (loss)	6	(33)	N/A	N/A
Leasing operations	182	173	261	370
Manufactured-housing finance (Clayton)	513	416	10,498	9,299
Other	158	159	N/A	N/A
Income before capital gains	1,157	822		
Trading – capital gains (losses)	938	(234)		
Total	$ 2,095	$ 588		

*Includes all liabilities

Investments

We show below our common stock investments. With two exceptions, those that had a market value of more than $700 million at the end of 2006 are itemized. We don't itemize the two securities referred to, which have a market value of $1.9 billion, because we continue to buy them. I could, of course, tell you their names. But then I would have to kill you.

			12/31/06	
Shares	*Company*	*Percentage of Company Owned*	*Cost**	*Market*
			(in millions)	
151,610,700	American Express Company	12.6	$ 1,287	$ 9,198
36,417,400	Anheuser-Busch Cos., Inc.	4.7	1,761	1,792
200,000,000	The Coca-Cola Company	8.6	1,299	9,650
17,938,100	Conoco Phillips	1.1	1,066	1,291
21,334,900	Johnson & Johnson	0.7	1,250	1,409
6,708,760	M&T Bank Corporation	6.1	103	820
48,000,000	Moody's Corporation	17.2	499	3,315
2,338,961,000	PetroChina "H" shares (or equivalents)	1.3	488	3,313
3,486,006	POSCO	4.0	572	1,158
100,000,000	The Procter & Gamble Company	3.2	940	6,427
229,707,000	Tesco	2.9	1,340	1,820
31,033,800	US Bancorp	1.8	969	1,123
17,072,192	USG Corp	19.0	536	936
19,944,300	Wal-Mart Stores, Inc.	0.5	942	921
1,727,765	The Washington Post Company	18.0	11	1,288
218,169,300	Wells Fargo & Company	6.5	3,697	7,758
1,724,200	White Mountains Insurance	16.0	369	999
	Others		5,866	8,315
	Total Common Stocks		$22,995	$61,533

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required.

We are delighted by the 2006 business performance of virtually all of our investees. Last year, we told you that our expectation was that these companies, in aggregate, would increase their earnings by 6% to 8% annually, a rate that would double their earnings every ten years or so. In 2006 American Express,

Coca-Cola, Procter & Gamble and Wells Fargo, our largest holdings, increased per-share earnings by 18%, 9%, 8% and 11%. These are stellar results, and we thank their CEOs.

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We've come close to eliminating our direct foreign-exchange position, from which we realized about $186 million in pre-tax profits in 2006 (earnings that were included in the Finance and Financial Products table shown earlier). That brought our total gain since inception of this position in 2002 to $2.2 billion. Here's a breakdown by currency:

Total Gain (Loss) in Millions

Australian dollar	$247.1	Mexican peso	$106.1
British pound	287.2	New Zealand dollar	102.6
Canadian dollar	398.3	Singapore dollar	(2.6)
Chinese yuan	(12.7)	South Korean won	261.3
Euro	839.2	Swiss franc	9.6
Hong Kong dollar	(2.5)	Taiwan dollar	(45.3)
Japanese yen	1.9	Miscellaneous options	22.9

We've made large indirect currency profits as well, though I've never tallied the precise amount. For example, in 2002-2003 we spent about $82 million buying – of all things – Enron bonds, some of which were denominated in Euros. Already we've received distributions of $179 million from these bonds, and our remaining stake is worth $173 million. That means our overall gain is $270 million, part of which came from the appreciation of the Euro that took place after our bond purchase.

When we first began making foreign exchange purchases, interest-rate differentials between the U.S. and most foreign countries favored a direct currency position. But that spread turned negative in 2005. We therefore looked for other ways to gain foreign-currency exposure, such as the ownership of foreign equities or of U.S. stocks with major earnings abroad. The currency factor, we should emphasize, is not dominant in our selection of equities, but is merely one of many considerations.

As our U.S. trade problems worsen, the probability that the dollar will weaken over time continues to be high. I fervently believe in *real* trade – the more the better for both us and the world. We had about $1.44 trillion of this honest-to-God trade in 2006. But the U.S. also had $.76 trillion of *pseudo*-trade last year – imports for which we exchanged no goods or services. (Ponder, for a moment, how commentators would describe the situation if our imports were $.76 trillion – a full 6% of GDP – and we had *no* exports.) Making these purchases that weren't reciprocated by sales, the U.S. necessarily transferred ownership of its assets or IOUs to the rest of the world. Like a very wealthy but self-indulgent family, we peeled off a bit of what we owned in order to consume more than we produced.

The U.S. can do a lot of this because we are an extraordinarily rich country that has behaved responsibly in the past. The world is therefore willing to accept our bonds, real estate, stocks and businesses. And we have a vast store of these to hand over.

These transfers will have consequences, however. Already the prediction I made last year about one fall-out from our spending binge has come true: The "investment income" account of our country – positive in every previous year since *1915* – turned negative in 2006. Foreigners now earn more on their U.S. investments than we do on our investments abroad. In effect, we've used up our bank account and turned to our credit card. And, like everyone who gets in hock, the U.S. will now experience "reverse compounding" as we pay ever-increasing amounts of interest on interest.

I want to emphasize that even though our course is unwise, Americans will live better ten or twenty years from now than they do today. Per-capita wealth will increase. But our citizens will also be forced every year to ship a significant portion of their current production abroad merely to service the cost of our huge debtor position. It won't be pleasant to work part of each day to pay for the over-consumption

of your ancestors. I believe that at some point in the future U.S. workers and voters will find this annual "tribute" so onerous that there will be a severe political backlash. How that will play out in markets is impossible to predict – but to expect a "soft landing" seems like wishful thinking.

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I should mention that all of the direct currency profits we have realized have come from forward contracts, which are derivatives, and that we have entered into other types of derivatives contracts as well. That may seem odd, since you know of our expensive experience in unwinding the derivatives book at Gen Re and also have heard me talk of the systemic problems that could result from the enormous growth in the use of derivatives. Why, you may wonder, are we fooling around with such potentially toxic material?

The answer is that derivatives, just like stocks and bonds, are sometimes wildly mispriced. For many years, accordingly, we have selectively written derivative contracts – few in number but sometimes for large dollar amounts. We currently have 62 contracts outstanding. I manage them personally, and they are free of counterparty credit risk. So far, these derivative contracts have worked out well for us, producing pre-tax profits in the hundreds of millions of dollars (above and beyond the gains I've itemized from forward foreign-exchange contracts). Though we will experience losses from time to time, we are likely to continue to earn – overall – significant profits from mispriced derivatives.

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I have told you that Berkshire has three outstanding candidates to replace me as CEO and that the Board knows exactly who should take over if I should die tonight. Each of the three is much younger than I. The directors believe it's important that my successor have the prospect of a long tenure.

Frankly, we are not as well-prepared on the investment side of our business. There's a history here: At one time, Charlie was my potential replacement for investing, and more recently Lou Simpson has filled that slot. Lou is a top-notch investor with an outstanding long-term record of managing GEICO's equity portfolio. But he is only six years younger than I. If I were to die soon, he would fill in magnificently for a short period. For the long-term, though, we need a different answer.

At our October board meeting, we discussed that subject fully. And we emerged with a plan, which I will carry out with the help of Charlie and Lou.

Under this plan, I intend to hire a younger man or woman with the potential to manage a very large portfolio, who we hope will succeed me as Berkshire's chief investment officer when the need for someone to do that arises. As part of the selection process, we may in fact take on several candidates.

Picking the right person(s) will not be an easy task. It's not hard, of course, to find smart people, among them individuals who have impressive investment records. But there is far more to successful long-term investing than brains and performance that has recently been good.

Over time, markets will do extraordinary, even bizarre, things. A single, big mistake could wipe out a long string of successes. We therefore need someone genetically programmed to recognize and avoid serious risks, *including those never before encountered*. Certain perils that lurk in investment strategies cannot be spotted by use of the models commonly employed today by financial institutions.

Temperament is also important. Independent thinking, emotional stability, and a keen understanding of both human and institutional behavior is vital to long-term investment success. I've seen a lot of very smart people who have lacked these virtues.

Finally, we have a special problem to consider: our ability to keep the person we hire. Being able to list Berkshire on a resume would materially enhance the marketability of an investment manager. We will need, therefore, to be sure we can retain our choice, even though he or she could leave and make much more money elsewhere.

There are surely people who fit what we need, but they may be hard to identify. In 1979, Jack Byrne and I felt we had found such a person in Lou Simpson. We then made an arrangement with him whereby he would be paid well for sustained overperformance. Under this deal, he has earned large amounts. Lou, however, could have left us long ago to manage far greater sums on more advantageous terms. If money alone had been the object, that's exactly what he would have done. But Lou never considered such a move. We need to find a younger person or two made of the same stuff.

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The good news: At 76, I feel terrific and, according to all measurable indicators, am in excellent health. It's amazing what Cherry Coke and hamburgers will do for a fellow.

Some Changes on Berkshire's Board

The composition of our board will change in two ways this spring. One change will involve the Chace family, which has been connected to Berkshire and its predecessor companies for more than a century. In 1929, the first Malcolm G. Chace played an important role in merging four New England textile operations into Berkshire Fine Spinning Associates. That company merged with Hathaway Manufacturing in 1955 to form Berkshire Hathaway, and Malcolm G. Chace, Jr. became its chairman.

Early in 1965, Malcolm arranged for Buffett Partnership Ltd. to buy a key block of Berkshire shares and welcomed us as the new controlling shareholder of the company. Malcolm continued as non-executive chairman until 1969. He was both a wonderful gentleman and helpful partner.

That description also fits his son, Malcolm "Kim" Chace, who succeeded his father on Berkshire's board in 1992. But last year Kim, now actively and successfully running a community bank that he founded in 1996, suggested that we find a younger person to replace him on our board. We have done so, and Kim will step down as a director at the annual meeting. I owe much to the Chaces and wish to thank Kim for his many years of service to Berkshire.

In selecting a new director, we were guided by our long-standing criteria, which are that board members be owner-oriented, business-savvy, interested and truly independent. I say "truly" because many directors who are now deemed independent by various authorities and observers are far from that, relying heavily as they do on directors' fees to maintain their standard of living. These payments, which come in many forms, often range between $150,000 and $250,000 annually, compensation that may approach or even exceed all other income of the "independent" director. And – surprise, surprise – director compensation has soared in recent years, pushed up by recommendations from corporate America's favorite consultant, Ratchet, Ratchet and Bingo. (The name may be phony, but the action it conveys is not.)

Charlie and I believe our four criteria are essential if directors are to do their job – which, by law, is to faithfully represent *owners*. Yet these criteria are usually ignored. Instead, consultants and CEOs seeking board candidates will often say, "We're looking for a woman," or "a Hispanic," or "someone from abroad," or what have you. It sometimes sounds as if the mission is to stock Noah's ark. Over the years I've been queried many times about potential directors and have yet to hear *anyone* ask, "Does he think like an intelligent owner?"

The questions I instead get would sound ridiculous to someone seeking candidates for, say, a football team, or an arbitration panel or a military command. In those cases, the selectors would look for people who had the specific talents and attitudes that were required for a specialized job. At Berkshire, we are in the specialized activity of running a business well, and therefore we seek *business* judgment.

That's exactly what we've found in Susan Decker, CFO of Yahoo!, who will join our board at the annual meeting. We are lucky to have her: She scores very high on our four criteria and additionally, at 44, is young – an attribute, as you may have noticed, that your Chairman has long lacked. We will seek more young directors in the future, but never by slighting the four qualities that we insist upon.

This and That

Berkshire will pay about $4.4 billion in federal income tax on its 2006 earnings. In its last fiscal year the U.S. Government spent $2.6 trillion, or about $7 billion per day. Thus, for more than half of one day, Berkshire picked up the tab for *all* federal expenditures, ranging from Social Security and Medicare payments to the cost of our armed services. Had there been only 600 taxpayers like Berkshire, no one else in America would have needed to pay *any* federal income or payroll taxes.

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Our federal return last year, we should add, ran to 9,386 pages. To handle this filing, state and foreign tax returns, a myriad of SEC requirements, and all of the other matters involved in running Berkshire, we have gone all the way up to 19 employees at World Headquarters.

This crew occupies 9,708 square feet of space, and Charlie – at World Headquarters West in Los Angeles – uses another 655 square feet. Our home-office payroll, including benefits and counting both locations, totaled $3,531,978 last year. We're careful when spending your money.

Corporate bigwigs often complain about government spending, criticizing bureaucrats who they say spend taxpayers' money differently from how they would if it were their own. But sometimes the financial behavior of executives will also vary based on whose wallet is getting depleted. Here's an illustrative tale from my days at Salomon. In the 1980s the company had a barber, Jimmy by name, who came in weekly to give free haircuts to the top brass. A manicurist was also on tap. Then, because of a cost-cutting drive, patrons were told to pay their own way. One top executive (not the CEO) who had previously visited Jimmy weekly went immediately to a once-every-three-weeks schedule.

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Every now and then Charlie and I catch on early to a tide-like trend, one brimming over with commercial promise. For example, though American Airlines (with its "miles") and American Express (with credit card points) are credited as being trailblazers in granting customers "rewards," Charlie and I were far ahead of them in spotting the appeal of this powerful idea. Excited by our insight, the two of us jumped into the reward business way back in 1970 by buying control of a trading stamp operation, Blue Chip Stamps. In that year, Blue Chip had sales of $126 million, and its stamps papered California.

In 1970, indeed, about 60 *billion* of our stamps were licked by savers, pasted into books, and taken to Blue Chip redemption stores. Our catalog of rewards was 116 pages thick and chock full of tantalizing items. When I was told that even certain brothels and mortuaries gave stamps to their patrons, I felt I had finally found a sure thing.

Well, not quite. From the day Charlie and I stepped into the Blue Chip picture, the business went straight downhill. By 1980, sales had fallen to $19.4 million. And, by 1990, sales were bumping along at $1.5 million. No quitter, I redoubled my managerial efforts.

Sales then fell another 98%. Last year, in Berkshire's $98 billion of revenues, all of $25,920 (*no* zeros omitted) came from Blue Chip. Ever hopeful, Charlie and I soldier on.

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I mentioned last year that in my service on 19 corporate boards (not counting Berkshire or other controlled companies), I have been the Typhoid Mary of compensation committees. At only one company was I assigned to comp committee duty, and then I was promptly outvoted on the most crucial decision that we faced. My ostracism has been peculiar, considering that I certainly haven't lacked experience in setting CEO pay. At Berkshire, after all, I am a one-man compensation committee who determines the salaries and incentives for the CEOs of around 40 significant operating businesses.

How much time does this aspect of my job take? Virtually none. How many CEOs have voluntarily left us for other jobs in our 42-year history? Precisely none.

Berkshire employs many different incentive arrangements, with their terms depending on such elements as the economic potential or capital intensity of a CEO's business. Whatever the compensation arrangement, though, I try to keep it both simple and fair.

When we use incentives – and these can be large – they are always tied to the operating results for which a given CEO has authority. We issue no lottery tickets that carry payoffs unrelated to business performance. If a CEO bats .300, he gets paid for being a .300 hitter, even if circumstances outside of his control cause Berkshire to perform poorly. And if he bats .150, he doesn't get a payoff just because the successes of others have enabled Berkshire to prosper mightily. An example: We now own $61 billion of equities at Berkshire, whose value can easily rise or fall by 10% in a given year. Why in the world should the pay of our operating executives be affected by such $6 billion swings, however important the gain or loss may be for shareholders?

You've read loads about CEOs who have received astronomical compensation for mediocre results. Much less well-advertised is the fact that America's CEOs also generally live the good life. Many, it should be emphasized, are exceptionally able, and almost all work far more than 40 hours a week. But they are usually treated like royalty in the process. (And we're certainly going to keep it that way at Berkshire. Though Charlie still favors sackcloth and ashes, I prefer to be spoiled rotten. Berkshire owns The Pampered Chef; our wonderful office group has made me The Pampered Chief.)

CEO perks at one company are quickly copied elsewhere. "All the other kids have one" may seem a thought too juvenile to use as a rationale in the boardroom. But consultants employ precisely this argument, phrased more elegantly of course, when they make recommendations to comp committees.

Irrational and excessive comp practices will not be materially changed by disclosure or by "independent" comp committee members. Indeed, I think it's likely that the reason I was rejected for service on so many comp committees was that I was regarded as *too* independent. Compensation reform will only occur if the largest institutional shareholders – it would only take a few – demand a *fresh* look at the whole system. The consultants' present drill of deftly selecting "peer" companies to compare with their clients will only perpetuate present excesses.

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Last year I arranged for the bulk of my Berkshire holdings to go to five charitable foundations, thus carrying out part of my lifelong plan to eventually use all of my shares for philanthropic purposes. Details of the commitments I made, as well as the rationale for them, are posted on our website, www.berkshirehathaway.com. Taxes, I should note, had nothing to do with my decision or its timing. My federal and state income taxes in 2006 were exactly what they would have been had I not made my first contributions last summer, and the same point will apply to my 2007 contributions.

In my will I've stipulated that the proceeds from all Berkshire shares I still own at death are to be used for philanthropic purposes within ten years after my estate is closed. Because my affairs are not complicated, it should take three years at most for this closing to occur. Adding this 13-year period to my expected lifespan of about 12 years (though, naturally, I'm aiming for more) means that proceeds from *all* of my Berkshire shares will likely be distributed for societal purposes over the next 25 years or so.

I've set this schedule because I want the money to be spent relatively promptly by people I *know* to be capable, vigorous and motivated. These managerial attributes sometimes wane as institutions – particularly those that are exempt from market forces – age. Today, there are terrific people in charge at the five foundations. So at my death, why should they not move with dispatch to judiciously spend the money that remains?

Those people favoring perpetual foundations argue that in the future there will most certainly be large and important societal problems that philanthropy will need to address. I agree. But there will then also be many super-rich individuals and families whose wealth will exceed that of today's Americans and to whom philanthropic organizations can make their case for funding. These funders can *then* judge firsthand which operations have both the vitality and the focus to best address the major societal problems that *then* exist. In this way, a market test of ideas and effectiveness can be applied. Some organizations will deserve major support while others will have outlived their usefulness. Even if the people above ground make their decisions imperfectly, they should be able to allocate funds more rationally than a decedent six feet under will have ordained decades earlier. Wills, of course, can always be rewritten, but it's very unlikely that my thinking will change in a material way.

A few shareholders have expressed concern that sales of Berkshire by the foundations receiving shares will depress the stock. These fears are unwarranted. The annual trading volume of many stocks exceeds 100% of the outstanding shares, but nevertheless these stocks usually sell at prices approximating their intrinsic value. Berkshire also tends to sell at an appropriate price, but with annual volume that is only 15% of shares outstanding. At most, sales by the foundations receiving my shares will add three percentage points to annual trading volume, which will still leave Berkshire with a turnover ratio that is the lowest around.

Overall, Berkshire's business performance will determine the price of our stock, and most of the time it will sell in a zone of reasonableness. It's important that the foundations receive appropriate prices as they periodically sell Berkshire shares, but it's also important that incoming shareholders don't overpay. (See economic principle 14 on page 77.) By both our policies and shareholder communications, Charlie and I will do our best to ensure that Berkshire sells at neither a large discount nor large premium to intrinsic value.

The existence of foundation ownership will in no way influence our board's decisions about dividends, repurchases, or the issuance of shares. We will follow exactly the same rule that has guided us in the past: What action will be likely to deliver the best result for shareholders over time?

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In last year's report I allegorically described the Gotrocks family – a clan that owned all of America's businesses and that counterproductively attempted to increase its investment returns by paying ever-greater commissions and fees to "helpers." Sad to say, the "family" continued its self-destructive ways in 2006.

In part the family persists in this folly because it harbors unrealistic expectations about obtainable returns. Sometimes these delusions are self-serving. For example, private pension plans can temporarily overstate their earnings, and public pension plans can defer the need for increased taxes, by using investment assumptions that are likely to be out of reach. Actuaries and auditors go along with these tactics, and it can be decades before the chickens come home to roost (at which point the CEO or public official who misled the world is apt to be gone).

Meanwhile, Wall Street's Pied Pipers of Performance will have encouraged the futile hopes of the family. The hapless Gotrocks will be assured that they *all* can achieve above-average investment performance – but only by paying ever-higher fees. Call this promise the adult version of Lake Woebegon.

In 2006, promises and fees hit new highs. A flood of money went from institutional investors to the 2-and-20 crowd. For those innocent of this arrangement, let me explain: It's a lopsided system whereby 2% of your *principal* is paid each year to the manager even if he accomplishes nothing – or, for that matter, loses you a bundle – and, additionally, 20% of your profit is paid to him if he succeeds, even if his success is due simply to a rising tide. For example, a manager who achieves a gross return of 10% in a year will keep 3.6 percentage points – two points off the top plus 20% of the residual 8 points – leaving only 6.4 percentage points for his investors. On a $3 billion fund, this 6.4% net "performance" will deliver the manager a cool $108 million. He will receive this bonanza even though an index fund might have returned 15% to investors in the same period and charged them only a token fee.

The inexorable math of this grotesque arrangement is certain to make the Gotrocks family poorer over time than it would have been had it never heard of these "hyper-helpers." Even so, the 2-and-20 action spreads. Its effects bring to mind the old adage: When someone with experience proposes a deal to someone with money, too often the fellow with money ends up with the experience, and the fellow with experience ends up with the money.

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Let me end this section by telling you about one of the good guys of Wall Street, my long-time friend Walter Schloss, who last year turned 90. From 1956 to 2002, Walter managed a remarkably successful investment partnership, from which he took not a dime unless his investors made money. My admiration for Walter, it should be noted, is not based on hindsight. A full fifty years ago, Walter was my sole recommendation to a St. Louis family who wanted an honest and able investment manager.

Walter did not go to business school, or for that matter, college. His office contained one file cabinet in 1956; the number mushroomed to four by 2002. Walter worked without a secretary, clerk or bookkeeper, his only associate being his son, Edwin, a graduate of the North Carolina School of the Arts. Walter and Edwin never came within a mile of inside information. Indeed, they used "outside" information only sparingly, generally selecting securities by certain simple statistical methods Walter learned while working for Ben Graham. When Walter and Edwin were asked in 1989 by *Outstanding Investors Digest*, "How would you summarize your approach?" Edwin replied, "We try to buy stocks cheap." So much for Modern Portfolio Theory, technical analysis, macroeconomic thoughts and complex algorithms.

Following a strategy that involved no real risk – defined as permanent loss of capital – Walter produced results over his 47 partnership years that dramatically surpassed those of the S&P 500. It's particularly noteworthy that he built this record by investing in about 1,000 securities, mostly of a lackluster type. A few big winners did not account for his success. It's safe to say that had millions of investment managers made trades by a) drawing stock names from a hat; b) purchasing these stocks in comparable amounts when Walter made a purchase; and then c) selling when Walter sold his pick, the *luckiest* of them would not have come close to equaling his record. There is simply *no* possibility that what Walter achieved over 47 years was due to chance.

I first publicly discussed Walter's remarkable record in 1984. At that time "efficient market theory" (EMT) was the centerpiece of investment instruction at most major business schools. This theory, as then most commonly taught, held that the price of any stock at any moment is not demonstrably mispriced, which means that no investor can be *expected* to overperform the stock market averages using only publicly-available information (though some will do so by luck). When I talked about Walter 23 years ago, his record forcefully contradicted this dogma.

And what did members of the academic community do when they were exposed to this new and important evidence? Unfortunately, they reacted in all-too-human fashion: Rather than opening their minds, they closed their eyes. To my knowledge *no* business school teaching EMT made any attempt to study Walter's performance and what it meant for the school's cherished theory.

Instead, the faculties of the schools went merrily on their way presenting EMT as having the certainty of scripture. Typically, a finance instructor who had the nerve to question EMT had about as much chance of major promotion as Galileo had of being named Pope.

Tens of thousands of students were therefore sent out into life believing that on every day the price of every stock was "right" (or, more accurately, not demonstrably wrong) and that attempts to evaluate businesses – that is, stocks – were useless. Walter meanwhile went on overperforming, his job made easier by the misguided instructions that had been given to those young minds. After all, if you are in the shipping business, it's helpful to have all of your potential competitors be taught that the earth is flat.

Maybe it was a good thing for his investors that Walter didn't go to college.

The Annual Meeting

Our meeting this year will be held on Saturday, May 5th. As always, the doors will open at the Qwest Center at 7 a.m., and a new Berkshire movie will be shown at 8:30. At 9:30 we will go directly to the question-and-answer period, which (with a break for lunch at the Qwest's stands) will last until 3:00. Then, after a short recess, Charlie and I will convene the annual meeting at 3:15. If you decide to leave during the day's question periods, please do so while *Charlie* is talking.

The best reason to exit, of course is to *shop*. We will help you do that by filling the 194,300 square foot hall that adjoins the meeting area with the products of Berkshire subsidiaries. Last year, the 24,000 people who came to the meeting did their part, and almost every location racked up record sales. But records are made to be broken, and I know you can do better.

This year we will again showcase a Clayton home (featuring Acme brick, Shaw carpet, Johns Manville insulation, MiTek fasteners, Carefree awnings and NFM furniture). You will find that the home, priced at $139,900, delivers excellent value. Last year, a helper at the Qwest bought one of two homes on display well before we opened the doors to shareholders. Flanking the Clayton home on the exhibition floor this year will be an RV and pontoon boat from Forest River.

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a special shareholder discount (usually 8%). This special offer is permitted by 45 of the 50 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another, such as that given certain groups.) Bring the details of your existing insurance and check out whether we can save you money. For at least 50% of you, I believe we can. And while you're at it, sign up for the new GEICO credit card. It's the one I now use (sparingly, of course).

On Saturday, at the Omaha airport, we will have the usual array of aircraft from NetJets available for your inspection. Stop by the NetJets booth at the Qwest to learn about viewing these planes. Come to Omaha by bus; leave in your new plane. And take all the hair gel that you wish on board with you.

In the Bookworm's corner of our bazaar, there will be about 25 books and DVDs – all discounted – led again by *Poor Charlie's Almanack*. (One hapless soul last year asked Charlie what he should do if he didn't enjoy the book. Back came a Mungerism: "No problem – just give it to someone more intelligent.") We've added a few titles this year. Among them are *Seeking Wisdom: From Darwin to Munger* by Peter Bevelin, a long-time Swedish shareholder of Berkshire, and Fred Schwed's classic, *Where are the Customers' Yachts?* This book was first published in 1940 and is now in its 4th edition. The funniest book ever written about investing, it lightly delivers many truly important messages on the subject.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. Carol Pedersen, who handles these matters, does a terrific job for us each year, and I thank her for it. Hotel rooms can be hard to find, but work with Carol and you will get one.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. We initiated this special event at NFM ten years ago, and sales during the "Weekend" grew from $5.3 million in 1997 to $30 million in 2006. I get goose bumps just thinking about this volume.

To obtain the Berkshire discount, you must make your purchases between Thursday, May 3rd and Monday, May 7th inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m.

to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m., NFM is having a special shareholder picnic featuring chicken and beef tacos (and hamburgers for traditionalists like me).

At a remodeled and expanded Borsheim's, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 10 p.m. on Friday, May 4th. The second, the main gala, will be held on Sunday, May 6th, from 9 a.m. to 4 p.m. On Saturday, we will be open until 6 p.m.

We will have huge crowds at Borsheim's throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 30th through Saturday, May 12th. During that period, please identify yourself as a shareholder by presenting your meeting credentials or a brokerage statement that shows you are a Berkshire holder.

On Sunday, in a tent outside of Borsheim's, a blindfolded Patrick Wolff, twice U.S. chess champion, will take on all comers – who will have their eyes wide open – in groups of six. Last year I carried on a conversation with Patrick while he played in this manner. Nearby, Norman Beck, a remarkable magician from Dallas, will bewilder onlookers. Additionally, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play bridge with our shareholders on Sunday afternoon.

To add to the Sunday fun at Borsheim's, Ariel Hsing will play table tennis (ping-pong to the uninitiated) from 1 p.m. to 4 p.m. against anyone brave enough to take her on. Ariel, though only 11, is ranked number one among girls under 16 in the U.S. (and number 1 among both boys and girls under 12). The week I turned 75 I played Ariel, then 9 and barely tall enough to see across the table, thinking I would take it easy on her so as not to crush her young spirit. Instead she crushed me. I've since devised a plan that will give me a chance against her. At 1 p.m. on Sunday, I will initiate play with a *2-point* game against Ariel. If I somehow win the first point, I will then feign injury and claim victory. After this strenuous encounter wears Ariel down, our shareholders can then try their luck against her.

Gorat's will again be open exclusively for Berkshire shareholders on Sunday, May 6th, and will be serving from 4 p.m. until 10 p.m. Please remember that to come to Gorat's on that day, you must have a reservation. To make one, call 402-551-3733 on April 1st (*but not before*).

In the 2006-2007 school year, 35 university classes, including one from IBMEC in Brazil, will come to Omaha for sessions with me. I take almost all – in aggregate, more than 2,000 students – to lunch at Gorat's. And they love it. To learn why, come join us on Sunday.

We will again have a reception at 4 p.m. on Saturday afternoon for shareholders who have come from outside of North America. Every year our meeting draws many people from around the globe, and Charlie and I want to be sure we personally greet those who have come so far. Last year we enjoyed meeting more than 400 of you from many dozens of countries. Any shareholder who comes from other than the U.S. or Canada will be given a special credential and instructions for attending this function.

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Charlie and I are extraordinarily lucky. We were born in America; had terrific parents who saw that we got good educations; have enjoyed wonderful families and great health; and came equipped with a "business" gene that allows us to prosper in a manner hugely disproportionate to other people who contribute as much or more to our society's well-being. Moreover, we have long had jobs that we love, in which we are helped every day in countless ways by talented and cheerful associates. No wonder we tap-dance to work. But nothing is more fun for us than getting together with our shareholder-partners at Berkshire's annual meeting. So join us on May 5th at the Qwest for our annual Woodstock for Capitalists. We'll see you there.

February 28, 2007

Warren E. Buffett
Chairman of the Board

Note: The following table appears in the printed Annual Report on the facing page of the Chairman's Letter and is referred to in that letter.

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
2004	10.5	10.9	(.4)
2005	6.4	4.9	1.5
2006	18.4	15.8	2.6
2007	11.0	5.5	5.5
Compounded Annual Gain – 1965-2007	21.1%	10.3%	10.8
Overall Gain – 1964-2007	400,863%	6,840%	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our gain in net worth during 2007 was $12.3 billion, which increased the per-share book value of both our Class A and Class B stock by 11%. Over the last 43 years (that is, since present management took over) book value has grown from $19 to $78,008, a rate of 21.1% compounded annually.*

Overall, our 76 operating businesses did well last year. The few that had problems were primarily those linked to housing, among them our brick, carpet and real estate brokerage operations. Their setbacks are minor and temporary. Our competitive position in these businesses remains strong, and we have first-class CEOs who run them right, in good times or bad.

Some major financial institutions have, however, experienced staggering problems because they engaged in the "weakened lending practices" I described in last year's letter. John Stumpf, CEO of Wells Fargo, aptly dissected the recent behavior of many lenders: "It is interesting that the industry has invented new ways to lose money when the old ways seemed to work just fine."

You may recall a 2003 Silicon Valley bumper sticker that implored, "Please, God, Just One More Bubble." Unfortunately, this wish was promptly granted, as just about all Americans came to believe that house prices would forever rise. That conviction made a borrower's income and cash equity seem unimportant to lenders, who shoveled out money, confident that HPA – house price appreciation – would cure all problems. Today, our country is experiencing widespread pain because of that erroneous belief. As house prices fall, a huge amount of financial folly is being exposed. You only learn who has been swimming naked when the tide goes out – and what we are witnessing at some of our largest financial institutions is an ugly sight.

Turning to happier thoughts, we can report that Berkshire's newest acquisitions of size, TTI and Iscar, led by their CEOs, Paul Andrews and Jacob Harpaz respectively, performed magnificently in 2007. Iscar is as impressive a manufacturing operation as I've seen, a view I reported last year and that was confirmed by a visit I made in the fall to its extraordinary plant in Korea.

Finally, our insurance business – the cornerstone of Berkshire – had an excellent year. Part of the reason is that we have the best collection of insurance managers in the business – more about them later. But we also were very lucky in 2007, the second year in a row free of major insured catastrophes.

That party is over. It's a *certainty* that insurance-industry profit margins, including ours, will fall significantly in 2008. Prices are down, and exposures inexorably rise. Even if the U.S. has its third consecutive catastrophe-light year, industry profit margins will probably shrink by four percentage points or so. If the winds roar or the earth trembles, results could be *far* worse. So be prepared for lower insurance earnings during the next few years.

Yardsticks

Berkshire has two major areas of value. The first is our investments: stocks, bonds and cash equivalents. At yearend these totaled $141 billion (not counting those in our finance or utility operations, which we assign to our second bucket of value).

*****All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/30th of those shown for the A.

Insurance float – money we temporarily hold in our insurance operations that does not belong to us – funds $59 billion of our investments. This float is "free" as long as insurance underwriting breaks even, meaning that the premiums we receive equal the losses and expenses we incur. Of course, insurance underwriting is volatile, swinging erratically between profits and losses. Over our entire history, however, we've been profitable, and I expect we will average breakeven results or better in the future. If we do that, our investments can be viewed as an unencumbered source of value for Berkshire shareholders.

Berkshire's second component of value is earnings that come from sources other than investments and insurance. These earnings are delivered by our 66 non-insurance companies, itemized on page 76. In our early years, we focused on the investment side. During the past two decades, however, we have put ever more emphasis on the development of earnings from non-insurance businesses.

The following tables illustrate this shift. In the first we tabulate per-share investments at 14-year intervals. We exclude those applicable to minority interests.

Year	*Per-Share Investments*	*Years*	*Compounded Annual Gain in Per-Share Investments*
1965	$ 4		
1979	577	1965-1979	42.8%
1993	13,961	1979-1993	25.6%
2007	90,343	1993-2007	14.3%

For the entire 42 years, our compounded annual gain in per-share investments was 27.1%. But the trend has been downward as we increasingly used our available funds to buy operating businesses.

Here's the record on how earnings of our non-insurance businesses have grown, again on a per-share basis and after applicable minority interests.

Year	*Per Share Pre-Tax Earnings*	*Years*	*Compounded Annual Gain in Per-Share Pre-Tax Earnings*
1965	$ 4		
1979	18	1965-1979	11.1%
1993	212	1979-1993	19.1%
2007	4,093	1993-2007	23.5%

For the entire period, the compounded annual gain was 17.8%, with gains accelerating as our focus shifted.

Though these tables may help you gain historical perspective and be useful in valuation, they are completely misleading in predicting future possibilities. *Berkshire's past record can't be duplicated or even approached. Our base of assets and earnings is now far too large for us to make outsized gains in the future.*

Charlie Munger, my partner at Berkshire, and I will continue to measure our progress by the two yardsticks I have just described and will regularly update you on the results. Though we can't come close to duplicating the past, we will do our best to make sure the future is not disappointing.

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In our efforts, we will be aided enormously by the managers who have joined Berkshire. This is an unusual group in several ways. First, most of them have no financial need to work. Many sold us their businesses for large sums and run them because they love doing so, not because they need the money. Naturally they wish to be paid fairly, but money alone is not the reason they work hard and productively.

A second, somewhat related, point about these managers is that they have exactly the job they want for the rest of their working years. At almost any other company, key managers below the top aspire to keep climbing the pyramid. For them, the subsidiary or division they manage today is a way station – or so they hope. Indeed, if they are in their present positions five years from now, they may well feel like failures.

Conversely, our CEOs' scorecards for success are not whether they obtain my job but instead are the long-term performances of their businesses. Their decisions flow from a here-today, here-forever mindset. I think our rare and hard-to-replicate managerial structure gives Berkshire a real advantage.

Acquisitions

Though our managers may be the best, we will need large and sensible acquisitions to get the growth in operating earnings we wish. Here, we made little progress in 2007 until very late in the year. Then, on Christmas day, Charlie and I finally earned our paychecks by contracting for the largest cash purchase in Berkshire's history.

The seeds of this transaction were planted in 1954. That fall, only three months into a new job, I was sent by my employers, Ben Graham and Jerry Newman, to a shareholders' meeting of Rockwood Chocolate in Brooklyn. A young fellow had recently taken control of this company, a manufacturer of assorted cocoa-based items. He had then initiated a one-of-a-kind tender, offering 80 pounds of cocoa beans for each share of Rockwood stock. I described this transaction in a section of the 1988 annual report that explained arbitrage. I also told you that Jay Pritzker – the young fellow mentioned above – was the business genius behind this tax-efficient idea, the possibilities for which had escaped all the other experts who had thought about buying Rockwood, including my bosses, Ben and Jerry.

At the meeting, Jay was friendly and gave me an education on the 1954 tax code. I came away very impressed. Thereafter, I avidly followed Jay's business dealings, which were many and brilliant. His valued partner was his brother, Bob, who for nearly 50 years ran Marmon Group, the home for most of the Pritzker businesses.

Jay died in 1999, and Bob retired early in 2002. Around then, the Pritzker family decided to gradually sell or reorganize certain of its holdings, including Marmon, a company operating 125 businesses, managed through nine sectors. Marmon's largest operation is Union Tank Car, which together with a Canadian counterpart owns 94,000 rail cars that are leased to various shippers. The original cost of this fleet is $5.1 billion. All told, Marmon has $7 billion in sales and about 20,000 employees.

We will soon purchase 60% of Marmon and will acquire virtually all of the balance within six years. Our initial outlay will be $4.5 billion, and the price of our later purchases will be based on a formula tied to earnings. Prior to our entry into the picture, the Pritzker family received substantial consideration from Marmon's distribution of cash, investments and certain businesses.

This deal was done in the way Jay would have liked. We arrived at a price using only Marmon's financial statements, employing no advisors and engaging in no nit-picking. I knew that the business would be exactly as the Pritzkers represented, and they knew that we would close on the dot, however chaotic financial markets might be. During the past year, many large deals have been renegotiated or killed entirely. With the Pritzkers, as with Berkshire, a deal is a deal.

Marmon's CEO, Frank Ptak, works closely with a long-time associate, John Nichols. John was formerly the highly successful CEO of Illinois Tool Works (ITW), where he teamed with Frank to run a mix of industrial businesses. Take a look at their ITW record; you'll be impressed.

Byron Trott of Goldman Sachs – whose praises I sang in the 2003 report – facilitated the Marmon transaction. Byron is the rare investment banker who puts himself in his client's shoes. Charlie and I trust him completely.

You'll like the code name that Goldman Sachs assigned the deal. Marmon entered the auto business in 1902 and exited it in 1933. Along the way it manufactured the Wasp, a car that won the first Indianapolis 500 race, held in 1911. So this deal was labeled "Indy 500."

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In May 2006, I spoke at a lunch at Ben Bridge, our Seattle-based jewelry chain. The audience was a number of its vendors, among them Dennis Ulrich, owner of a company that manufactured gold jewelry.

In January 2007, Dennis called me, suggesting that with Berkshire's support he could build a large jewelry supplier. We soon made a deal for his business, simultaneously purchasing a supplier of about equal size. The new company, Richline Group, has since made two smaller acquisitions. Even with those, Richline is far below the earnings threshold we normally require for purchases. I'm willing to bet, however, that Dennis – with the help of his partner, Dave Meleski – will build a large operation, earning good returns on capital employed.

Businesses – The Great, the Good and the Gruesome

Let's take a look at what kind of businesses turn us on. And while we're at it, let's also discuss what we wish to avoid.

Charlie and I look for companies that have a) a business we understand; b) favorable long-term economics; c) able and trustworthy management; and d) a sensible price tag. We like to buy the whole business or, if management is our partner, at least 80%. When control-type purchases of quality aren't available, though, we are also happy to simply buy small portions of great businesses by way of stock-market purchases. It's better to have a part interest in the Hope Diamond than to own all of a rhinestone.

A truly great business must have an enduring "moat" that protects excellent returns on invested capital. The dynamics of capitalism guarantee that competitors will repeatedly assault any business "castle" that is earning high returns. Therefore a formidable barrier such as a company's being the low-cost producer (GEICO, Costco) or possessing a powerful world-wide brand (Coca-Cola, Gillette, American Express) is essential for sustained success. Business history is filled with "Roman Candles," companies whose moats proved illusory and were soon crossed.

Our criterion of "enduring" causes us to rule out companies in industries prone to rapid and continuous change. Though capitalism's "creative destruction" is highly beneficial for society, it precludes investment certainty. A moat that must be continuously rebuilt will eventually be no moat at all.

Additionally, this criterion eliminates the business whose success *depends* on having a great manager. Of course, a terrific CEO is a huge asset for any enterprise, and at Berkshire we have an abundance of these managers. Their abilities have created billions of dollars of value that would never have materialized if typical CEOs had been running their businesses.

But if a business *requires* a superstar to produce great results, the business itself cannot be deemed great. A medical partnership led by your area's premier brain surgeon may enjoy outsized and growing earnings, but that tells little about its future. The partnership's moat will go when the surgeon goes. You can count, though, on the moat of the Mayo Clinic to endure, even though you can't name its CEO.

Long-term competitive advantage in a stable industry is what we seek in a business. If that comes with rapid organic growth, great. But even without organic growth, such a business is rewarding. We will simply take the lush earnings of the business and use them to buy similar businesses elsewhere. There's no rule that you have to invest money where you've earned it. Indeed, it's often a mistake to do so: Truly great businesses, earning huge returns on tangible assets, *can't* for any extended period reinvest a large portion of their earnings internally at high rates of return.

Let's look at the prototype of a dream business, our own See's Candy. The boxed-chocolates industry in which it operates is unexciting: Per-capita consumption in the U.S. is extremely low and doesn't grow. Many once-important brands have disappeared, and only three companies have earned more than token profits over the last forty years. Indeed, I believe that See's, though it obtains the bulk of its revenues from only a few states, accounts for nearly half of the entire industry's earnings.

At See's, annual sales were 16 million pounds of candy when Blue Chip Stamps purchased the company in 1972. (Charlie and I controlled Blue Chip at the time and later merged it into Berkshire.) Last year See's sold 31 million pounds, a growth rate of only 2% annually. Yet its durable competitive advantage, built by the See's family over a 50-year period, and strengthened subsequently by Chuck Huggins and Brad Kinstler, has produced extraordinary results for Berkshire.

We bought See's for $25 million when its sales were $30 million and pre-tax earnings were less than $5 million. The capital then required to conduct the business was $8 million. (Modest seasonal debt was also needed for a few months each year.) Consequently, the company was earning 60% pre-tax on invested capital. Two factors helped to minimize the funds required for operations. First, the product was sold for cash, and that eliminated accounts receivable. Second, the production and distribution cycle was short, which minimized inventories.

Last year See's sales were $383 million, and pre-tax profits were $82 million. The capital now required to run the business is $40 million. This means we have had to reinvest only $32 million since 1972 to handle the modest physical growth – and somewhat immodest financial growth – of the business. In the meantime pre-tax earnings have totaled $1.35 billion. *All of that*, except for the $32 million, has been sent to Berkshire (or, in the early years, to Blue Chip). After paying corporate taxes on the profits, we have used the rest to buy other attractive businesses. Just as Adam and Eve kick-started an activity that led to six billion humans, See's has given birth to multiple new streams of cash for us. (The biblical command to "be fruitful and multiply" is one we take seriously at Berkshire.)

There aren't many See's in Corporate America. Typically, companies that increase their earnings from $5 million to $82 million require, say, $400 million or so of capital investment to finance their growth. That's because growing businesses have both working capital needs that increase in proportion to sales growth and significant requirements for fixed asset investments.

A company that needs large increases in capital to engender its growth may well prove to be a satisfactory investment. There is, to follow through on our example, nothing shabby about earning $82 million pre-tax on $400 million of net tangible assets. But that equation for the owner is vastly different from the See's situation. It's far better to have an ever-increasing stream of earnings with virtually no major capital requirements. Ask Microsoft or Google.

One example of good, but far from sensational, business economics is our own FlightSafety. This company delivers benefits to its customers that are the equal of those delivered by any business that I know of. It also possesses a durable competitive advantage: Going to any other flight-training provider than the best is like taking the low bid on a surgical procedure.

Nevertheless, this business requires a significant reinvestment of earnings if it is to grow. When we purchased FlightSafety in 1996, its pre-tax operating earnings were $111 million, and its net investment in fixed assets was $570 million. Since our purchase, depreciation charges have totaled $923 million. But capital expenditures have totaled $1.635 billion, most of that for simulators to match the new airplane models that are constantly being introduced. (A simulator can cost us more than $12 million, and we have 273 of them.) Our fixed assets, after depreciation, now amount to $1.079 billion. Pre-tax operating earnings in 2007 were $270 million, a gain of $159 million since 1996. That gain gave us a good, but far from See's-like, return on our incremental investment of $509 million.

Consequently, if measured only by economic returns, FlightSafety is an excellent but not extraordinary business. Its put-up-more-to-earn-more experience is that faced by most corporations. For example, our large investment in regulated utilities falls squarely in this category. We will earn considerably more money in this business ten years from now, but we will invest many billions to make it.

Now let's move to the gruesome. The worst sort of business is one that grows rapidly, requires significant capital to engender the growth, and then earns little or no money. Think airlines. Here a *durable* competitive advantage has proven elusive ever since the days of the Wright Brothers. Indeed, if a farsighted capitalist had been present at Kitty Hawk, he would have done his successors a huge favor by shooting Orville down.

The airline industry's demand for capital ever since that first flight has been insatiable. Investors have poured money into a bottomless pit, attracted by growth when they should have been repelled by it. And I, to my shame, participated in this foolishness when I had Berkshire buy U.S. Air preferred stock in 1989. As the ink was drying on our check, the company went into a tailspin, and before long our preferred dividend was no longer being paid. But we then got very lucky. In one of the recurrent, but always misguided, bursts of optimism for airlines, we were actually able to sell our shares in 1998 for a hefty gain. In the decade following our sale, the company went bankrupt. Twice.

To sum up, think of three types of "savings accounts." The great one pays an extraordinarily high interest rate that will rise as the years pass. The good one pays an attractive rate of interest that will be earned also on deposits that are added. Finally, the gruesome account both pays an inadequate interest rate and requires you to keep adding money at those disappointing returns.

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And now it's confession time. It should be noted that no consultant, board of directors or investment banker pushed me into the mistakes I will describe. In tennis parlance, they were all unforced errors.

To begin with, I almost blew the See's purchase. The seller was asking $30 million, and I was adamant about not going above $25 million. Fortunately, he caved. Otherwise I would have balked, and that $1.35 billion would have gone to somebody else.

About the time of the See's purchase, Tom Murphy, then running Capital Cities Broadcasting, called and offered me the Dallas-Fort Worth NBC station for $35 million. The station came with the Fort Worth paper that Capital Cities was buying, and under the "cross-ownership" rules Murph had to divest it. I knew that TV stations were See's-like businesses that required virtually no capital investment and had excellent prospects for growth. They were simple to run and showered cash on their owners.

Moreover, Murph, then as now, was a close friend, a man I admired as an extraordinary manager and outstanding human being. He knew the television business forward and backward and would not have called me unless he felt a purchase was certain to work. In effect Murph whispered "buy" into my ear. But I didn't listen.

In 2006, the station earned $73 million pre-tax, bringing its total earnings since I turned down the deal to at least $1 billion – almost all available to its owner for other purposes. Moreover, the property now has a capital value of about $800 million. Why did I say "no"? The only explanation is that my brain had gone on vacation and forgot to notify me. (My behavior resembled that of a politician Molly Ivins once described: "If his I.Q. was any lower, you would have to water him twice a day.")

Finally, I made an even worse mistake when I said "yes" to Dexter, a shoe business I bought in 1993 for $433 million in Berkshire stock (25,203 shares of A). What I had assessed as durable competitive advantage vanished within a few years. But that's just the beginning: By using Berkshire stock, I compounded this error hugely. That move made the cost to Berkshire shareholders not $400 million, but rather $3.5 billion. In essence, I gave away 1.6% of a wonderful business – one now valued at $220 billion – to buy a worthless business.

To date, Dexter is the worst deal that I've made. But I'll make more mistakes in the future – you can bet on that. A line from Bobby Bare's country song explains what too often happens with acquisitions: "I've never gone to bed with an ugly woman, but I've sure woke up with a few."

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Now, let's examine the four major operating sectors of Berkshire. Each sector has vastly different balance sheet and income account characteristics. Therefore, lumping them together impedes analysis. So we'll present them as four separate businesses, which is how Charlie and I view them.

Insurance

The best anecdote I've heard during the current presidential campaign came from Mitt Romney, who asked his wife, Ann, "When we were young, did you ever in your wildest dreams think I might be president?" To which she replied, "Honey, you weren't *in* my wildest dreams."

When we first entered the property/casualty insurance business in 1967, my wildest dreams did not envision our current operation. Here's how we did in the first five years after purchasing National Indemnity:

Year	*Underwriting Profit (Loss)*	*Float*
	(in millions)	
1967	$ 0.4	$18.5
1968	0.6	21.3
1969	0.1	25.4
1970	(0.4)	39.4
1971	1.4	65.6

To put it charitably, we were a slow starter. But things changed. Here's the record of the last five years:

Year	*Underwriting Profit (Loss)*	*Float*
	(in millions)	
2003	$1,718	$44,220
2004	1,551	46,094
2005	53	49,287
2006	3,838	50,887
2007	3,374	58,698

This metamorphosis has been accomplished by some extraordinary managers. Let's look at what each has achieved.

- GEICO possesses the widest moat of any of our insurers, one carefully protected and expanded by Tony Nicely, its CEO. Last year – again – GEICO had the best growth record among major auto insurers, increasing its market share to 7.2%. When Berkshire acquired control in 1995, that share was 2.5%. Not coincidentally, annual ad expenditures by GEICO have increased from $31 million to $751 million during the same period.

  Tony, now 64, joined GEICO at 18. Every day since, he has been passionate about the company – proud of how it could both save money for its customers and provide growth opportunities for its associates. Even now, with sales at $12 billion, Tony feels GEICO is just getting started. So do I.

  Here's some evidence. In the last three years, GEICO has increased its share of the motorcycle market from 2.1% to 6%. We've also recently begun writing policies on ATVs and RVs. And in November we wrote our first *commercial* auto policy. GEICO and National Indemnity are working together in the commercial field, and early results are very encouraging.

  Even in aggregate, these lines will remain a small fraction of our personal auto volume. Nevertheless, they should deliver a growing stream of underwriting profits and float.

- General Re, our international reinsurer, is by far our largest source of "home-grown" float – $23 billion at yearend. This operation is now a huge asset for Berkshire. Our ownership, however, had a shaky start.

  For decades, General Re was the Tiffany of reinsurers, admired by all for its underwriting skills and discipline. This reputation, unfortunately, outlived its factual underpinnings, a flaw that I completely missed when I made the decision in 1998 to merge with General Re. The General Re of 1998 was not operated as the General Re of 1968 or 1978.

  Now, thanks to Joe Brandon, General Re's CEO, and his partner, Tad Montross, the luster of the company has been restored. Joe and Tad have been running the business for six years and have been doing first-class business in a first-class way, to use the words of J. P. Morgan. They have restored discipline to underwriting, reserving and the selection of clients.

  Their job was made more difficult by costly and time-consuming legacy problems, both in the U.S. and abroad. Despite that diversion, Joe and Tad have delivered excellent underwriting results while skillfully repositioning the company for the future.

- Since joining Berkshire in 1986, Ajit Jain has built a truly great specialty reinsurance operation from scratch. For one-of-a-kind mammoth transactions, the world now turns to him.

  Last year I told you in detail about the Equitas transfer of huge, but capped, liabilities to Berkshire for a single premium of $7.1 billion. At this very early date, our experience has been good. But this doesn't tell us much because it's just one straw in a fifty-year-or-more wind. What we know for sure, however, is that the London team who joined us, headed by Scott Moser, is first-rate and has become a valuable asset for our insurance business.

- Finally, we have our smaller operations, which serve specialized segments of the insurance market. In aggregate, these companies have performed extraordinarily well, earning above-average underwriting profits and delivering valuable float for investment.

  Last year BoatU.S., headed by Bill Oakerson, was added to the group. This company manages an association of about 650,000 boat owners, providing them services similar to those offered by AAA auto clubs to drivers. Among the association's offerings is boat insurance. Learn more about this operation by visiting its display at the annual meeting.

Below we show the record of our four categories of property/casualty insurance.

	Underwriting Profit		*Yearend Float*	
		(in millions)		
Insurance Operations	*2007*	*2006*	*2007*	*2006*
General Re	$ 555	$ 526	$23,009	$22,827
BH Reinsurance	1,427	1,658	23,692	16,860
GEICO	1,113	1,314	7,768	7,171
Other Primary	279	340*	4,229	4,029*
	$3,374	$3,838	$58,698	$50,887

* Includes Applied Underwriters from May 19, 2006.

Regulated Utility Business

Berkshire has an 87.4% (diluted) interest in MidAmerican Energy Holdings, which owns a wide variety of utility operations. The largest of these are (1) Yorkshire Electricity and Northern Electric, whose 3.8 million electric customers make it the third largest distributor of electricity in the U.K.; (2) MidAmerican Energy, which serves 720,000 electric customers, primarily in Iowa; (3) Pacific Power and Rocky Mountain Power, serving about 1.7 million electric customers in six western states; and (4) Kern River and Northern Natural pipelines, which carry about 8% of the natural gas consumed in the U.S.

Our partners in ownership of MidAmerican are Walter Scott, and its two terrific managers, Dave Sokol and Greg Abel. It's unimportant how many votes each party has; we make major moves only when we are unanimous in thinking them wise. Eight years of working with Dave, Greg and Walter have underscored my original belief: Berkshire couldn't have better partners.

Somewhat incongruously, MidAmerican also owns the second largest real estate brokerage firm in the U.S., HomeServices of America. This company operates through 20 locally-branded firms with 18,800 agents. Last year was a slow year for residential sales, and 2008 will probably be slower. We will continue, however, to acquire quality brokerage operations when they are available at sensible prices.

Here are some key figures on MidAmerican's operation:

	Earnings (in millions)	
	2007	*2006*
U.K. utilities	$ 337	$ 338
Iowa utility	412	348
Western utilities (acquired March 21, 2006)	692	356
Pipelines	473	376
HomeServices	42	74
Other (net)	130	245
Earnings before corporate interest and taxes	2,086	1,737
Interest, other than to Berkshire	(312)	(261)
Interest on Berkshire junior debt	(108)	(134)
Income tax	(477)	(426)
Net earnings	$ 1,189	$ 916
Earnings applicable to Berkshire*	$ 1,114	$ 885
Debt owed to others	19,002	16,946
Debt owed to Berkshire	821	1,055

*Includes interest earned by Berkshire (net of related income taxes) of $70 in 2007 and $87 in 2006.

We agreed to purchase 35,464,337 shares of MidAmerican at $35.05 per share in 1999, a year in which its per-share earnings were $2.59. Why the odd figure of $35.05? I originally decided the business was worth $35.00 per share to Berkshire. Now, I'm a "one-price" guy (remember See's?) and for several days the investment bankers representing MidAmerican had no luck in getting me to increase Berkshire's offer. But, finally, they caught me in a moment of weakness, and I caved, telling them I would go to $35.05. With that, I explained, they could tell their client they had wrung the last nickel out of me. At the time, it hurt.

Later on, in 2002, Berkshire purchased 6,700,000 shares at $60 to help finance the acquisition of one of our pipelines. Lastly, in 2006, when MidAmerican bought PacifiCorp, we purchased 23,268,793 shares at $145 per share.

In 2007, MidAmerican earned $15.78 per share. However, 77¢ of that was non-recurring – a reduction in deferred tax at our British utility, resulting from a lowering of the U.K. corporate tax rate. So call normalized earnings $15.01 per share. And yes, I'm glad I wilted and offered the extra nickel.

Manufacturing, Service and Retailing Operations

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/07 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 2,080	Notes payable	$ 1,278
Accounts and notes receivable	4,488	Other current liabilities	7,652
Inventory	5,793	Total current liabilities	8,930
Other current assets	470		
Total current assets	12,831		
Goodwill and other intangibles	14,201	Deferred taxes	828
Fixed assets	9,605	Term debt and other liabilities	3,079
Other assets	1,685	Equity	25,485
	$38,322		$38,322

Earnings Statement (in millions)

	2007	*2006*	*2005*
Revenues	$59,100	$52,660	$46,896
Operating expenses (including depreciation of $955 in 2007, $823 in 2006 and $699 in 2005)	55,026	49,002	44,190
Interest expense	127	132	83
Pre-tax earnings	3,947*	3,526*	2,623*
Income taxes and minority interests	1,594	1,395	977
Net income	$ 2,353	$ 2,131	$ 1,646

*Does not include purchase-accounting adjustments.

This motley group, which sells products ranging from lollipops to motor homes, earned a pleasing 23% on average tangible net worth last year. It's noteworthy also that these operations used only minor financial leverage in achieving that return. Clearly we own some terrific businesses. We purchased many of them, however, at large premiums to net worth – a point reflected in the goodwill item shown on the balance sheet – and that fact reduces the earnings on our average *carrying* value to 9.8%.

Here are a few newsworthy items about companies in this sector:

- Shaw, Acme Brick, Johns Manville and MiTek were all hurt in 2007 by the sharp housing downturn, with their pre-tax earnings declining 27%, 41%, 38%, and 9% respectively. Overall, these companies earned $941 million pre-tax compared to $1.296 billion in 2006.

  Last year, Shaw, MiTek and Acme contracted for tuck-in acquisitions that will help future earnings. You can be sure they will be looking for more of these.

- In a tough year for retailing, our standouts were See's, Borsheims and Nebraska Furniture Mart.

  Two years ago Brad Kinstler was made CEO of See's. We very seldom move managers from one industry to another at Berkshire. But we made an exception with Brad, who had previously run our uniform company, Fechheimer, and Cypress Insurance. The move could not have worked out better. In his two years, profits at See's have increased more than 50%.

  At Borsheims, sales increased 15.1%, helped by a 27% gain during Shareholder Weekend. Two years ago, Susan Jacques suggested that we remodel and expand the store. I was skeptical, but Susan was right.

  Susan came to Borsheims 25 years ago as a $4-an-hour saleswoman. Though she lacked a managerial background, I did not hesitate to make her CEO in 1994. She's smart, she loves the business, and she loves her associates. That beats having an MBA degree any time.

  (An aside: Charlie and I are not big fans of resumes. Instead, we focus on brains, passion and integrity. Another of our great managers is Cathy Baron Tamraz, who has significantly increased Business Wire's earnings since we purchased it early in 2006. She is an owner's dream. It is positively *dangerous* to stand between Cathy and a business prospect. Cathy, it should be noted, began her career as a cab driver.)

  Finally, at Nebraska Furniture Mart, earnings hit a record as our Omaha and Kansas City stores each had sales of about $400 million. These, by some margin, are the two top home furnishings stores in the country. In a disastrous year for many furniture retailers, sales at Kansas City increased 8%, while in Omaha the gain was 6%.

  Credit the remarkable Blumkin brothers, Ron and Irv, for this performance. Both are close personal friends of mine and great businessmen.

- Iscar continues its wondrous ways. Its products are small carbide cutting tools that make large and very expensive machine tools more productive. The raw material for carbide is tungsten, mined in China. For many decades, Iscar moved tungsten to Israel, where brains turned it into something far more valuable. Late in 2007, Iscar opened a large plant in Dalian, China. In effect, we've now moved the brains to the tungsten. Major opportunities for growth await Iscar. Its management team, led by Eitan Wertheimer, Jacob Harpaz, and Danny Goldman, is certain to make the most of them.

- Flight services set a record in 2007 with pre-tax earnings increasing 49% to $547 million. Corporate aviation had an extraordinary year worldwide, and both of our companies – as runaway leaders in their fields – fully participated.

  FlightSafety, our pilot training business, gained 14% in revenues and 20% in pre-tax earnings. We estimate that we train about 58% of U.S. corporate pilots. Bruce Whitman, the company's CEO, inherited this leadership position in 2003 from Al Ueltschi, the father of advanced flight training, and has proved to be a worthy successor.

At NetJets, the inventor of fractional-ownership of jets, we also remain the unchallenged leader. We now operate 487 planes in the U.S. and 135 in Europe, a fleet more than twice the size of that operated by our three major competitors *combined*. Because our share of the large-cabin market is near 90%, our lead in value terms is far greater.

The NetJets brand – with its promise of safety, service and security – grows stronger every year. Behind this is the passion of one man, Richard Santulli. If you were to pick someone to join you in a foxhole, you couldn't do better than Rich. No matter what the obstacles, he just doesn't stop.

Europe is the best example of how Rich's tenacity leads to success. For the first ten years we made little financial progress there, actually running up cumulative losses of $212 million. After Rich brought Mark Booth on board to run Europe, however, we began to gain traction. Now we have real momentum, and last year earnings tripled.

In November, our directors met at NetJets headquarters in Columbus and got a look at the sophisticated operation there. It is responsible for 1,000 or so flights a day in all kinds of weather, with customers expecting top-notch service. Our directors came away impressed by the facility and its capabilities – but even more impressed by Rich and his associates.

Finance and Finance Products

Our major operation in this category is Clayton Homes, the largest U.S. manufacturer and marketer of manufactured homes. Clayton's market share hit a record 31% last year. But industry volume continues to shrink: Last year, manufactured home sales were 96,000, down from 131,000 in 2003, the year we bought Clayton. (At the time, it should be remembered, some commentators criticized its directors for selling at a cyclical bottom.)

Though Clayton earns money from both manufacturing and retailing its homes, most of its earnings come from an $11 billion loan portfolio, covering 300,000 borrowers. That's why we include Clayton's operation in this finance section. Despite the many problems that surfaced during 2007 in real estate finance, the Clayton portfolio is performing well. Delinquencies, foreclosures and losses during the year were at rates similar to those we experienced in our previous years of ownership.

Clayton's loan portfolio is financed by Berkshire. For this funding, we charge Clayton one percentage point over Berkshire's borrowing cost – a fee that amounted to $85 million last year. Clayton's 2007 pre-tax earnings of $526 million are *after* its paying this fee. The flip side of this transaction is that Berkshire recorded $85 million as income, which is included in "other" in the following table.

	Pre-Tax Earnings (in millions)	
	2007	*2006*
Trading – ordinary income	$ 272	$ 274
Life and annuity operation	(60)	29
Leasing operations	111	182
Manufactured-housing finance (Clayton)	526	513
Other	157	159
Income before capital gains	1,006	1,157
Trading – capital gains	105	938
	$1,111	$2,095

The leasing operations tabulated are XTRA, which rents trailers, and CORT, which rents furniture. Utilization of trailers was down considerably in 2007 and that led to a drop in earnings at XTRA. That company also borrowed $400 million last year and distributed the proceeds to Berkshire. The resulting higher interest it is now paying further reduced XTRA's earnings.

Clayton, XTRA and CORT are all good businesses, very ably run by Kevin Clayton, Bill Franz and Paul Arnold. Each has made tuck-in acquisitions during Berkshire's ownership. More will come.

Investments

We show below our common stock investments at yearend, itemizing those with a market value of at least $600 million.

			12/31/07	
Shares	*Company*	*Percentage of Company Owned*	*Cost**	*Market*
			(in millions)	
151,610,700	American Express Company	13.1	$ 1,287	$ 7,887
35,563,200	Anheuser-Busch Companies, Inc.	4.8	1,718	1,861
60,828,818	Burlington Northern Santa Fe	17.5	4,731	5,063
200,000,000	The Coca-Cola Company	8.6	1,299	12,274
17,508,700	Conoco Phillips	1.1	1,039	1,546
64,271,948	Johnson & Johnson	2.2	3,943	4,287
124,393,800	Kraft Foods Inc.	8.1	4,152	4,059
48,000,000	Moody's Corporation	19.1	499	1,714
3,486,006	POSCO	4.5	572	2,136
101,472,000	The Procter & Gamble Company	3.3	1,030	7,450
17,170,953	Sanofi-Aventis	1.3	1,466	1,575
227,307,000	Tesco plc	2.9	1,326	2,156
75,176,026	U.S. Bancorp	4.4	2,417	2,386
17,072,192	USG Corp	17.2	536	611
19,944,300	Wal-Mart Stores, Inc.	0.5	942	948
1,727,765	The Washington Post Company	18.2	11	1,367
303,407,068	Wells Fargo & Company	9.2	6,677	9,160
1,724,200	White Mountains Insurance Group Ltd.	16.3	369	886
	Others		5,238	7,633
	Total Common Stocks		$39,252	$74,999

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required.

Overall, we are delighted by the business performance of our investees. In 2007, American Express, Coca-Cola and Procter & Gamble, three of our four largest holdings, increased per-share earnings by 12%, 14% and 14%. The fourth, Wells Fargo, had a small decline in earnings because of the popping of the real estate bubble. Nevertheless, I believe its intrinsic value increased, even if only by a minor amount.

In the strange world department, note that American Express and Wells Fargo were both organized by Henry Wells and William Fargo, Amex in 1850 and Wells in 1852. P&G and Coke began business in 1837 and 1886 respectively. Start-ups are not our game.

I should emphasize that we do not measure the progress of our investments by what their market prices do during any given year. Rather, we evaluate their performance by the two methods we apply to the businesses we own. The first test is improvement in earnings, with our making due allowance for industry conditions. The second test, more subjective, is whether their "moats" – a metaphor for the superiorities they possess that make life difficult for their competitors – have widened during the year. All of the "big four" scored positively on that test.

We made one large sale last year. In 2002 and 2003 Berkshire bought 1.3% of PetroChina for $488 million, a price that valued the entire business at about $37 billion. Charlie and I then felt that the company was worth about $100 billion. By 2007, two factors had materially increased its value: the price of oil had climbed significantly, and PetroChina's management had done a great job in building oil and gas reserves. In the second half of last year, the market value of the company rose to $275 billion, about what we thought it was worth compared to other giant oil companies. So we sold our holdings for $4 billion.

A footnote: We paid the IRS tax of $1.2 billion on our PetroChina gain. This sum paid *all* costs of the U.S. government – defense, social security, you name it – for about four hours.

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Last year I told you that Berkshire had 62 derivative contracts that I manage. (We also have a few left in the General Re runoff book.) Today, we have 94 of these, and they fall into two categories.

First, we have written 54 contracts that require us to make payments if certain bonds that are included in various high-yield indices default. These contracts expire at various times from 2009 to 2013. At yearend we had received $3.2 billion in premiums on these contracts; had paid $472 million in losses; and in the worst case (though it is extremely unlikely to occur) could be required to pay an additional $4.7 billion.

We are certain to make many more payments. But I believe that on premium revenues alone, these contracts will prove profitable, leaving aside what we can earn on the large sums we hold. Our yearend liability for this exposure was recorded at $1.8 billion and is included in "Derivative Contract Liabilities" on our balance sheet.

The second category of contracts involves various put options we have sold on four stock indices (the S&P 500 plus three foreign indices). These puts had original terms of either 15 or 20 years and were struck at the market. We have received premiums of $4.5 billion, and we recorded a liability at yearend of $4.6 billion. The puts in these contracts are exercisable *only* at their expiration dates, which occur between 2019 and 2027, and Berkshire will then need to make a payment only if the index in question is quoted at a level below that existing on the day that the put was written. Again, I believe these contracts, in aggregate, will be profitable and that we will, in addition, receive substantial income from our investment of the premiums we hold during the 15- or 20-year period.

Two aspects of our derivative contracts are particularly important. First, in all cases we hold the money, which means that we have *no* counterparty risk.

Second, accounting rules for our derivative contracts differ from those applying to our investment portfolio. In that portfolio, changes in value are applied to the net worth shown on Berkshire's balance sheet, but do not affect earnings unless we sell (or write down) a holding. Changes in the value of a derivative contract, however, must be applied each quarter to earnings.

Thus, our derivative positions will sometimes cause large swings in reported earnings, even though Charlie and I might believe the intrinsic value of these positions has changed little. He and I will not be bothered by these swings – even though they could easily amount to $1 billion or more in a quarter – and we hope you won't be either. You will recall that in our catastrophe insurance business, we are always ready to trade increased volatility in reported earnings in the short run for greater gains in net worth in the long run. That is our philosophy in derivatives as well.

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The U.S. dollar weakened further in 2007 against major currencies, and it's no mystery why: Americans like buying products made elsewhere more than the rest of the world likes buying products made in the U.S. Inevitably, that causes America to ship about $2 billion of IOUs and assets *daily* to the rest of the world. And over time, that puts pressure on the dollar.

When the dollar falls, it both makes our products cheaper for foreigners to buy and their products more expensive for U.S. citizens. That's why a falling currency is supposed to cure a trade deficit. Indeed, the U.S. deficit has undoubtedly been tempered by the large drop in the dollar. But ponder this: In 2002 when the Euro averaged 94.6¢, our trade deficit with Germany (the fifth largest of our trading partners) was $36 billion, whereas in 2007, with the Euro averaging $1.37, our deficit with Germany was up to $45 billion. Similarly, the Canadian dollar averaged 64¢ in 2002 and 93¢ in 2007. Yet our trade deficit with Canada rose as well, from $50 billion in 2002 to $64 billion in 2007. So far, at least, a plunging dollar has not done much to bring our trade activity into balance.

There's been much talk recently of sovereign wealth funds and how they are buying large pieces of American businesses. This is *our* doing, not some nefarious plot by foreign governments. Our trade equation guarantees massive foreign investment in the U.S. When we force-feed $2 billion daily to the rest of the world, they must invest in *something* here. Why should we complain when they choose stocks over bonds?

Our country's weakening currency is not the fault of OPEC, China, etc. Other developed countries rely on imported oil and compete against Chinese imports just as we do. In developing a sensible trade policy, the U.S. should not single out countries to punish or industries to protect. Nor should we take actions likely to evoke retaliatory behavior that will reduce America's exports, true trade that benefits both our country and the rest of the world.

Our legislators should recognize, however, that the current imbalances are unsustainable and should therefore adopt policies that will materially reduce them sooner rather than later. Otherwise our $2 billion daily of force-fed dollars to the rest of the world may produce global indigestion of an unpleasant sort. (For other comments about the unsustainability of our trade deficits, see Alan Greenspan's comments on November 19, 2004, the Federal Open Market Committee's minutes of June 29, 2004, and Ben Bernanke's statement on September 11, 2007.)

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At Berkshire we held only one direct currency position during 2007. That was in – hold your breath – the Brazilian real. Not long ago, swapping dollars for reals would have been unthinkable. After all, during the past century *five* versions of Brazilian currency have, in effect, turned into confetti. As has been true in many countries whose currencies have periodically withered and died, wealthy Brazilians sometimes stashed large sums in the U.S. to preserve their wealth.

But any Brazilian who followed this apparently prudent course would have lost *half* his net worth over the past five years. Here's the year-by-year record (indexed) of the real versus the dollar from the end of 2002 to yearend 2007: 100; 122; 133; 152; 166; 199. Every year the real went up and the dollar fell. Moreover, during much of this period the Brazilian government was actually holding down the value of the real and supporting *our* currency by buying dollars in the market.

Our direct currency positions have yielded $2.3 billion of pre-tax profits over the past five years, and in addition we have profited by holding bonds of U.S. companies that are denominated in other currencies. For example, in 2001 and 2002 we purchased €310 million Amazon.com, Inc. 6 7/8 of 2010 at 57% of par. At the time, Amazon bonds were priced as "junk" credits, though they were anything but. (Yes, Virginia, you can occasionally find markets that are ridiculously inefficient – or at least you can find them anywhere except at the finance departments of some leading business schools.)

The Euro denomination of the Amazon bonds was a further, and important, attraction for us. The Euro was at 95¢ when we bought in 2002. Therefore, our cost in dollars came to only $169 million. Now the bonds sell at 102% of par and the Euro is worth $1.47. In 2005 and 2006 some of our bonds were called and we received $253 million for them. Our remaining bonds were valued at $162 million at yearend. Of our $246 million of realized and unrealized gain, about $118 million is attributable to the fall in the dollar. Currencies do matter.

At Berkshire, we will attempt to further increase our stream of direct and indirect foreign earnings. Even if we are successful, however, our assets and earnings will always be concentrated in the U.S. Despite our country's many imperfections and unrelenting problems of one sort or another, America's rule of law, market-responsive economic system, and belief in meritocracy are almost certain to produce ever-growing prosperity for its citizens.

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As I have told you before, we have for some time been well-prepared for CEO succession because we have three outstanding internal candidates. The board knows exactly whom it would pick if I were to become unavailable, either because of death or diminishing abilities. And that would still leave the board with two backups.

Last year I told you that we would also promptly complete a succession plan for the investment job at Berkshire, and we have indeed now identified four candidates who could succeed me in managing investments. All manage substantial sums currently, and all have indicated a strong interest in coming to Berkshire if called. The board knows the strengths of the four and would expect to hire one or more if the need arises. The candidates are young to middle-aged, well-to-do to rich, and all wish to work for Berkshire for reasons that go beyond compensation.

(I've reluctantly discarded the notion of my continuing to manage the portfolio after my death – abandoning my hope to give new meaning to the term "thinking outside the box.")

Fanciful Figures – How Public Companies Juice Earnings

Former Senator Alan Simpson famously said: "Those who travel the high road in Washington need not fear heavy traffic." If he had sought truly deserted streets, however, the Senator should have looked to Corporate America's accounting.

An important referendum on which road businesses prefer occurred in 1994. America's CEOs had just strong-armed the U.S. Senate into ordering the Financial Accounting Standards Board to shut up, by a vote that was 88-9. Before that rebuke the FASB had shown the audacity – by unanimous agreement, no less – to tell corporate chieftains that the stock options they were being awarded represented a form of compensation and that their value should be recorded as an expense.

After the senators voted, the FASB – now educated on accounting principles by the Senate's 88 closet CPAs – decreed that companies could choose between two methods of reporting on options. The *preferred* treatment would be to expense their value, but it would also be allowable for companies to ignore the expense as long as their options were issued at market value.

A moment of truth had now arrived for America's CEOs, and their reaction was not a pretty sight. During the next six years, exactly *two* of the 500 companies in the S&P chose the preferred route. CEOs of the rest opted for the low road, thereby ignoring a large and obvious expense in order to report higher "earnings." I'm sure some of them also felt that if they opted for expensing, their directors might in future years think twice before approving the mega-grants the managers longed for.

It turned out that for many CEOs even the low road wasn't good enough. Under the weakened rule, there remained earnings consequences if options were issued with a strike price below market value. No problem. To avoid that bothersome rule, a number of companies surreptitiously backdated options to falsely indicate that they were granted at current market prices, when in fact they were dished out at prices well below market.

Decades of option-accounting nonsense have now been put to rest, but other accounting choices remain – important among these the investment-return assumption a company uses in calculating pension expense. It will come as no surprise that many companies continue to choose an assumption that allows them to report less-than-solid "earnings." For the 363 companies in the S&P that have pension plans, this assumption in 2006 averaged 8%. Let's look at the chances of that being achieved.

The average holdings of bonds and cash for all pension funds is about 28%, and on these assets returns can be expected to be no more than 5%. Higher yields, of course, are obtainable but they carry with them a risk of commensurate (or greater) loss.

This means that the remaining 72% of assets – which are mostly in equities, either held directly or through vehicles such as hedge funds or private-equity investments – must earn 9.2% in order for the fund overall to achieve the postulated 8%. And that return must be delivered *after* all fees, which are now far higher than they have ever been.

How realistic is this expectation? Let's revisit some data I mentioned two years ago: During the 20th Century, the Dow advanced from 66 to 11,497. This gain, though it appears huge, shrinks to 5.3% when compounded annually. An investor who owned the Dow throughout the century would also have received generous dividends for much of the period, but only about 2% or so in the final years. It was a wonderful century.

Think now about *this* century. For investors to merely match that 5.3% market-value gain, the Dow – recently below 13,000 – would need to close at about *2,000,000* on December 31, 2099. We are now eight years into this century, and we have racked up less than 2,000 of the 1,988,000 Dow points the market needed to travel in this hundred years to equal the 5.3% of the last.

It's amusing that commentators regularly hyperventilate at the prospect of the Dow crossing an even number of thousands, such as 14,000 or 15,000. If they keep reacting that way, a 5.3% annual gain for the century will mean they experience at least 1,986 seizures during the next 92 years. While anything is possible, does anyone really believe this is the most likely outcome?

Dividends continue to run about 2%. Even if stocks were to average the 5.3% annual appreciation of the 1900s, the equity portion of plan assets – allowing for expenses of .5% – would produce no more than 7% or so. And .5% may well understate costs, given the presence of layers of consultants and high-priced managers ("helpers").

Naturally, everyone expects to be above average. And those helpers – bless their hearts – will certainly encourage their clients in this belief. But, as a class, the helper-aided group must be *below* average. The reason is simple: 1) Investors, overall, will necessarily earn an average return, minus costs they incur; 2) Passive and index investors, through their very inactivity, will earn that average minus costs that are very low; 3) With that group earning average returns, so must the remaining group – the active investors. But this group will incur high transaction, management, and advisory costs. Therefore, the active investors will have their returns diminished by a far greater percentage than will their inactive brethren. That means that the passive group – the "know-nothings" – must win.

I should mention that people who expect to earn 10% annually from equities during this century – envisioning that 2% of that will come from dividends and 8% from price appreciation – are implicitly forecasting a level of about *24,000,000* on the Dow by 2100. If your adviser talks to you about double-digit returns from equities, explain this math to him – not that it will faze him. Many helpers are apparently direct descendants of the queen in Alice in Wonderland, who said: "Why, sometimes I've believed as many as six impossible things before breakfast." Beware the glib helper who fills your head with fantasies while he fills his pockets with fees.

Some companies have pension plans in Europe as well as in the U.S. and, in their accounting, almost all assume that the U.S. plans will earn more than the non-U.S. plans. This discrepancy is puzzling: Why should these companies not put their U.S. managers in charge of the non-U.S. pension assets and let them work their magic on these assets as well? I've never seen this puzzle explained. But the auditors and actuaries who are charged with vetting the return assumptions seem to have no problem with it.

What is no puzzle, however, is why CEOs opt for a high investment assumption: It lets them report higher earnings. And if they are wrong, as I believe they are, the chickens won't come home to roost until long after they retire.

After decades of pushing the envelope – or worse – in its attempt to report the highest number possible for current earnings, Corporate America should ease up. It should listen to my partner, Charlie: "If you've hit three balls out of bounds to the left, aim a little to the right on the next swing."

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Whatever pension-cost surprises are in store for shareholders down the road, these jolts will be surpassed many times over by those experienced by taxpayers. Public pension promises are huge and, in many cases, funding is woefully inadequate. Because the fuse on this time bomb is long, politicians flinch from inflicting tax pain, given that problems will only become apparent long after these officials have departed. Promises involving very early retirement – sometimes to those in their low 40s – and generous cost-of-living adjustments are easy for these officials to make. In a world where people are living longer and inflation is certain, those promises will be anything but easy to keep.

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Having laid out the failures of an "honor system" in American accounting, I need to point out that this is exactly the system existing at Berkshire for a truly huge balance-sheet item. In every report we make to you, we must guesstimate the loss reserves for our insurance units. If our estimate is wrong, it means that both our balance sheet and our earnings statement will be wrong. So naturally we do our best to make these guesses accurate. *Nevertheless, in every report our estimate is sure to be wrong*.

At yearend 2007, we show an insurance liability of $56 billion that represents our guess as to what we will eventually pay for all loss events that occurred before yearend (except for about $3 billion of the reserve that has been discounted to present value). We know of many thousands of events and have put a dollar value on each that reflects what we believe we will pay, including the associated costs (such as attorney's fees) that we will incur in the payment process. In some cases, among them claims for certain serious injuries covered by worker's compensation, payments will be made for 50 years or more.

We also include a large reserve for losses that occurred before yearend but that we have yet to hear about. Sometimes, the insured itself does not know that a loss has occurred. (Think of an embezzlement that remains undiscovered for years.) We sometimes hear about losses from policies that covered our insured many decades ago.

A story I told you some years back illustrates our problem in accurately estimating our loss liability: A fellow was on an important business trip in Europe when his sister called to tell him that their dad had died. Her brother explained that he couldn't get back but said to spare nothing on the funeral, whose cost he would cover. When he returned, his sister told him that the service had been beautiful and presented him with bills totaling $8,000. He paid up but a month later received a bill from the mortuary for $10. He paid that, too – and still another $10 charge he received a month later. When a third $10 invoice was sent to him the following month, the perplexed man called his sister to ask what was going on. "Oh," she replied, "I forgot to tell you. We buried Dad in a rented suit."

At our insurance companies we have an unknown, but most certainly large, number of "rented suits" buried around the world. We try to estimate the bill for them accurately. In ten or twenty years, we will even be able to make a good guess as to how inaccurate our present guess is. But even *that* guess will be subject to surprises. I personally believe our stated reserves are adequate, but I've been wrong several times in the past.

The Annual Meeting

Our meeting this year will be held on Saturday, May 3rd. As always, the doors will open at the Qwest Center at 7 a.m., and a new Berkshire movie will be shown at 8:30. At 9:30 we will go directly to the question-and-answer period, which (with a break for lunch at the Qwest's stands) will last until 3:00. Then, after a short recess, Charlie and I will convene the annual meeting at 3:15. If you decide to leave during the day's question periods, please do so while *Charlie* is talking.

The best reason to exit, of course is to *shop*. We will help you do that by filling the 194,300-square-foot hall that adjoins the meeting area with the products of Berkshire subsidiaries. Last year, the 27,000 people who came to the meeting did their part, and almost every location racked up record sales. But you can do better. (If necessary, I'll lock the doors.)

This year we will again showcase a Clayton home (featuring Acme brick, Shaw carpet, Johns Manville insulation, MiTek fasteners, Carefree awnings and NFM furniture). You will find that this 1,550-square-foot home, priced at $69,500, delivers exceptional value. And after you purchase the house, consider also acquiring the Forest River RV and pontoon boat on display nearby.

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a special shareholder discount (usually 8%). This special offer is permitted by 45 of the 50 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another, such as that given certain groups.) Bring the details of your existing insurance and check out whether we can save you money. For at least 50% of you, I believe we can.

On Saturday, at the Omaha airport, we will have the usual array of aircraft from NetJets available for your inspection. Stop by the NetJets booth at the Qwest to learn about viewing these planes. Come to Omaha by bus; leave in your new plane. And take all the hair gel and scissors that you wish on board with you.

Next, if you have any money left, visit the Bookworm, where you will find about 25 books and DVDs – all discounted – led again by *Poor Charlie's Almanack*. Without any advertising or bookstore placement, Charlie's book has now remarkably sold nearly 50,000 copies. For those of you who can't make the meeting, go to poorcharliesalmanack.com to order a copy.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. Carol Pedersen, who handles these matters, does a terrific job for us each year, and I thank her for it. Hotel rooms can be hard to find, but work with Carol and you will get one.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. We initiated this special event at NFM eleven years ago, and sales during the "Weekend" grew from $5.3 million in 1997 to $30.9 million in 2007. This is more volume than most furniture stores register in a year.

To obtain the Berkshire discount, you must make your purchases between Thursday, May 1st and Monday, May 5th inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m. to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m., NFM is having a Baja Beach Bash featuring beef and chicken tacos.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 10 p.m. on Friday, May 2nd. The second, the main gala, will be held on Sunday, May 4th, from 9 a.m. to 4 p.m. On Saturday, we will be open until 6 p.m.

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 28th through Saturday, May 10th. During that period, please identify yourself as a shareholder by presenting your meeting credentials or a brokerage statement that shows you are a Berkshire holder.

On Sunday, in a tent outside of Borsheims, a blindfolded Patrick Wolff, twice U.S. chess champion, will take on all comers – who will have their eyes wide open – in groups of six. Nearby, Norman Beck, a remarkable magician from Dallas, will bewilder onlookers. Additionally, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play bridge with our shareholders on Sunday afternoon.

Gorat's will again be open exclusively for Berkshire shareholders on Sunday, May 4th, and will be serving from 4 p.m. until 10 p.m. Last year Gorat's, which seats 240, served 915 dinners on Shareholder Sunday. The three-day total was 2,487 including 656 T-bone steaks, the entrée preferred by the *cognoscenti*. Please remember that to come to Gorat's on that day, you must have a reservation. To make one, call 402-551-3733 on April 1st (*but not before*).

We will again have a reception at 4 p.m. on Saturday afternoon for shareholders who have come from outside of North America. Every year our meeting draws many people from around the globe, and Charlie and I want to be sure we personally greet those who have come so far. Last year we enjoyed meeting more than 400 of you from many dozens of countries. Any shareholder who comes from other than the U.S. or Canada will be given a special credential and instructions for attending this function.

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At 84 and 77, Charlie and I remain lucky beyond our dreams. We were born in America; had terrific parents who saw that we got good educations; have enjoyed wonderful families and great health; and came equipped with a "business" gene that allows us to prosper in a manner hugely disproportionate to that experienced by many people who contribute as much or more to our society's well-being. Moreover, we have long had jobs that we love, in which we are helped in countless ways by talented and cheerful associates. Every day is exciting to us; no wonder we tap-dance to work. But nothing is more fun for us than getting together with our shareholder-partners at Berkshire's annual meeting. So join us on May 3rd at the Qwest for our annual Woodstock for Capitalists. We'll see you there.

February 2008

Warren E. Buffett
Chairman of the Board

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
2004	10.5	10.9	(.4)
2005	6.4	4.9	1.5
2006	18.4	15.8	2.6
2007	11.0	5.5	5.5
2008	(9.6)	(37.0)	27.4
Compounded Annual Gain – 1965-2008	20.3%	8.9%	11.4
Overall Gain – 1964-2008	362,319%	4,276%	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our *decrease* in net worth during 2008 was $11.5 billion, which reduced the per-share book value of both our Class A and Class B stock by 9.6%. Over the last 44 years (that is, since present management took over) book value has grown from $19 to $70,530, a rate of 20.3% compounded annually.*

The table on the preceding page, recording both the 44-year performance of Berkshire's book value and the S&P 500 index, shows that 2008 was the worst year for each. The period was devastating as well for corporate and municipal bonds, real estate and commodities. By yearend, investors of all stripes were bloodied and confused, much as if they were small birds that had strayed into a badminton game.

As the year progressed, a series of life-threatening problems within many of the world's great financial institutions was unveiled. This led to a dysfunctional credit market that in important respects soon turned non-functional. The watchword throughout the country became the creed I saw on restaurant walls when I was young: "In God we trust; all others pay cash."

By the fourth quarter, the credit crisis, coupled with tumbling home and stock prices, had produced a paralyzing fear that engulfed the country. A freefall in business activity ensued, accelerating at a pace that I have never before witnessed. The U.S. – and much of the world – became trapped in a vicious negative-feedback cycle. Fear led to business contraction, and that in turn led to even greater fear.

This debilitating spiral has spurred our government to take massive action. In poker terms, the Treasury and the Fed have gone "all in." Economic medicine that was previously meted out by the cupful has recently been dispensed by the barrel. These once-unthinkable dosages will almost certainly bring on unwelcome aftereffects. Their precise nature is anyone's guess, though one likely consequence is an onslaught of inflation. Moreover, major industries have become dependent on Federal assistance, and they will be followed by cities and states bearing mind-boggling requests. Weaning these entities from the public teat will be a political challenge. They won't leave willingly.

Whatever the downsides may be, strong and immediate action by government was essential last year if the financial system was to avoid a total breakdown. Had one occurred, the consequences for every area of our economy would have been cataclysmic. Like it or not, the inhabitants of Wall Street, Main Street and the various Side Streets of America were all in the same boat.

Amid this bad news, however, never forget that our country has faced far worse travails in the past. In the 20th Century alone, we dealt with two great wars (one of which we initially appeared to be losing); a dozen or so panics and recessions; virulent inflation that led to a 21½% prime rate in 1980; and the Great Depression of the 1930s, when unemployment ranged between 15% and 25% for many years. America has had no shortage of challenges.

Without fail, however, we've overcome them. In the face of those obstacles – and many others – the real standard of living for Americans improved nearly *seven*-fold during the 1900s, while the Dow Jones Industrials rose from 66 to 11,497. Compare the record of this period with the dozens of centuries during which humans secured only tiny gains, if any, in how they lived. Though the path has not been smooth, our economic system has worked extraordinarily well over time. It has unleashed human potential as no other system has, and it will continue to do so. America's best days lie ahead.

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*All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/30th of those shown for A.

Take a look again at the 44-year table on page 2. In 75% of those years, the S&P stocks recorded a gain. I would guess that a roughly similar percentage of years will be positive in the next 44. But neither Charlie Munger, my partner in running Berkshire, nor I can predict the winning and losing years in advance. (In our usual opinionated view, we don't think anyone else can either.) We're certain, for example, that the economy will be in shambles throughout 2009 – and, for that matter, probably well beyond – but that conclusion does not tell us whether the stock market will rise or fall.

In good years and bad, Charlie and I simply focus on four goals:

(1) maintaining Berkshire's Gibraltar-like financial position, which features huge amounts of excess liquidity, near-term obligations that are modest, and dozens of sources of earnings and cash;

(2) widening the "moats" around our operating businesses that give them durable competitive advantages;

(3) acquiring and developing new and varied streams of earnings;

(4) expanding and nurturing the cadre of outstanding operating managers who, over the years, have delivered Berkshire exceptional results.

Berkshire in 2008

Most of the Berkshire businesses whose results are significantly affected by the economy earned below their potential last year, and that will be true in 2009 as well. Our retailers were hit particularly hard, as were our operations tied to residential construction. In aggregate, however, our manufacturing, service and retail businesses earned substantial sums and most of them – particularly the larger ones – continue to strengthen their competitive positions. Moreover, we are fortunate that Berkshire's two most important businesses – our insurance and utility groups – produce earnings that are not correlated to those of the general economy. Both businesses delivered outstanding results in 2008 and have excellent prospects.

As predicted in last year's report, the exceptional underwriting profits that our insurance businesses realized in 2007 were not repeated in 2008. Nevertheless, the insurance group delivered an underwriting gain for the sixth consecutive year. This means that our $58.5 billion of insurance "float" – money that doesn't belong to us but that we hold and invest for our own benefit – cost us less than zero. In fact, we were *paid* $2.8 billion to hold our float during 2008. Charlie and I find this enjoyable.

Over time, most insurers experience a substantial underwriting loss, which makes their economics far different from ours. Of course, we too will experience underwriting losses in some years. But we have the best group of managers in the insurance business, and in most cases they oversee entrenched and valuable franchises. Considering these strengths, I believe that we will earn an underwriting profit over the years and that our float will therefore cost us nothing. Our insurance operation, the core business of Berkshire, is an economic powerhouse.

Charlie and I are equally enthusiastic about our utility business, which had record earnings last year and is poised for future gains. Dave Sokol and Greg Abel, the managers of this operation, have achieved results unmatched elsewhere in the utility industry. I love it when they come up with new projects because in this capital-intensive business these ventures are often large. Such projects offer Berkshire the opportunity to put out substantial sums at decent returns.

Things also went well on the capital-allocation front last year. Berkshire is always a buyer of both businesses and securities, and the disarray in markets gave us a tailwind in our purchases. When investing, pessimism is your friend, euphoria the enemy.

In our insurance portfolios, we made three large investments on terms that would be unavailable in normal markets. These should add about $1½ billion pre-tax to Berkshire's annual earnings and offer possibilities for capital gains as well. We also closed on our Marmon acquisition (we own 64% of the company now and will purchase its remaining stock over the next six years). Additionally, certain of our subsidiaries made "tuck-in" acquisitions that will strengthen their competitive positions and earnings.

That's the good news. But there's another less pleasant reality: During 2008 I did some dumb things in investments. I made at least one major mistake of commission and several lesser ones that also hurt. I will tell you more about these later. Furthermore, I made some errors of omission, sucking my thumb when new facts came in that should have caused me to re-examine my thinking and promptly take action.

Additionally, the market value of the bonds and stocks that we continue to hold suffered a significant decline along with the general market. This does not bother Charlie and me. Indeed, we enjoy such price declines if we have funds available to increase our positions. Long ago, Ben Graham taught me that "Price is what you pay; value is what you get." Whether we're talking about socks or stocks, I like buying quality merchandise when it is marked down.

Yardsticks

Berkshire has two major areas of value. The first is our investments: stocks, bonds and cash equivalents. At yearend those totaled $122 billion (not counting the investments held by our finance and utility operations, which we assign to our second bucket of value). About $58.5 billion of that total is funded by our insurance float.

Berkshire's second component of value is earnings that come from sources other than investments and insurance. These earnings are delivered by our 67 non-insurance companies, itemized on page 96. We exclude our insurance earnings from this calculation because the value of our insurance operation comes from the investable funds it generates, and we have already included this factor in our first bucket.

In 2008, our investments fell from $90,343 per share of Berkshire (after minority interest) to $77,793, a decrease that was caused by a decline in market prices, not by net sales of stocks or bonds. Our second segment of value fell from pre-tax earnings of $4,093 per Berkshire share to $3,921 (again after minority interest).

Both of these performances are unsatisfactory. Over time, we need to make decent gains in each area if we are to increase Berkshire's intrinsic value at an acceptable rate. Going forward, however, our focus will be on the earnings segment, just as it has been for several decades. We like buying underpriced securities, but we like buying fairly-priced operating businesses even more.

Now, let's take a look at the four major operating sectors of Berkshire. Each of these has vastly different balance sheet and income account characteristics. Therefore, lumping them together, as is done in standard financial statements, impedes analysis. So we'll present them as four separate businesses, which is how Charlie and I view them.

Regulated Utility Business

Berkshire has an 87.4% (diluted) interest in MidAmerican Energy Holdings, which owns a wide variety of utility operations. The largest of these are (1) Yorkshire Electricity and Northern Electric, whose 3.8 million end users make it the U.K.'s third largest distributor of electricity; (2) MidAmerican Energy, which serves 723,000 electric customers, primarily in Iowa; (3) Pacific Power and Rocky Mountain Power, serving about 1.7 million electric customers in six western states; and (4) Kern River and Northern Natural pipelines, which carry about 9% of the natural gas consumed in the U.S.

Our partners in ownership of MidAmerican are its two terrific managers, Dave Sokol and Greg Abel, and my long-time friend, Walter Scott. It's unimportant how many votes each party has; we make major moves only when we are unanimous in thinking them wise. Nine years of working with Dave, Greg and Walter have reinforced my original belief: Berkshire couldn't have better partners.

Somewhat incongruously, MidAmerican also owns the second largest real estate brokerage firm in the U.S., HomeServices of America. This company operates through 21 locally-branded firms that have 16,000 agents. Last year was a terrible year for home sales, and 2009 looks no better. We will continue, however, to acquire quality brokerage operations when they are available at sensible prices.

Here are some key figures on MidAmerican's operations:

	Earnings (in millions)	
	2008	*2007*
U.K. utilities	$ 339	$ 337
Iowa utility	425	412
Western utilities	703	692
Pipelines	595	473
HomeServices	(45)	42
Other (net)	186	130
Operating earnings before corporate interest and taxes	2,203	2,086
Constellation Energy*	1,092	–
Interest, other than to Berkshire	(332)	(312)
Interest on Berkshire junior debt	(111)	(108)
Income tax	(1,002)	(477)
Net earnings	$ 1,850	$ 1,189
Earnings applicable to Berkshire**	$ 1,704	$ 1,114
Debt owed to others	19,145	19,002
Debt owed to Berkshire	1,087	821

*Consists of a breakup fee of $175 million and a profit on our investment of $917 million.
**Includes interest earned by Berkshire (net of related income taxes) of $72 in 2008 and $70 in 2007.

MidAmerican's record in operating its regulated electric utilities and natural gas pipelines is truly outstanding. Here's some backup for that claim.

Our two pipelines, Kern River and Northern Natural, were both acquired in 2002. A firm called Mastio regularly ranks pipelines for customer satisfaction. Among the 44 rated, Kern River came in 9th when we purchased it and Northern Natural ranked 39th. There was work to do.

In Mastio's 2009 report, Kern River ranked 1st and Northern Natural 3rd. Charlie and I couldn't be more proud of this performance. It came about because hundreds of people at each operation committed themselves to a new culture and then delivered on their commitment.

Achievements at our electric utilities have been equally impressive. In 1995, MidAmerican became the major provider of electricity in Iowa. By judicious planning and a zeal for efficiency, the company has kept electric prices unchanged since our purchase and has promised to hold them steady through 2013.

MidAmerican has maintained this extraordinary price stability while making Iowa number one among all states in the percentage of its generation capacity that comes from wind. Since our purchase, MidAmerican's wind-based facilities have grown from zero to almost 20% of total capacity.

Similarly, when we purchased PacifiCorp in 2006, we moved aggressively to expand wind generation. Wind capacity was then 33 megawatts. It's now 794, with more coming. (Arriving at PacifiCorp, we found "wind" of a different sort: The company had 98 committees that met frequently. Now there are 28. Meanwhile, we generate and deliver considerably more electricity, doing so with 2% fewer employees.)

In 2008 alone, MidAmerican spent $1.8 billion on wind generation at our two operations, and today the company is number one in the nation among regulated utilities in ownership of wind capacity. By the way, compare that $1.8 billion to the $1.1 billion of pre-tax earnings of PacifiCorp (shown in the table as "Western") and Iowa. In our utility business, we spend all we earn, and then some, in order to fulfill the needs of our service areas. Indeed, MidAmerican has not paid a dividend since Berkshire bought into the company in early 2000. Its earnings have instead been reinvested to develop the utility systems our customers require and deserve. In exchange, we have been allowed to earn a fair return on the huge sums we have invested. It's a great partnership for all concerned.

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Our long-avowed goal is to be the "buyer of choice" for businesses – particularly those built and owned by families. The way to achieve this goal is to deserve it. That means we must keep our promises; avoid leveraging up acquired businesses; grant unusual autonomy to our managers; and hold the purchased companies through thick and thin (though we prefer thick and thicker).

Our record matches our rhetoric. Most buyers competing against us, however, follow a different path. For them, acquisitions are "merchandise." Before the ink dries on their purchase contracts, these operators are contemplating "exit strategies." We have a decided advantage, therefore, when we encounter sellers who truly care about the future of their businesses.

Some years back our competitors were known as "leveraged-buyout operators." But LBO became a bad name. So in Orwellian fashion, the buyout firms decided to change their moniker. What they did not change, though, were the essential ingredients of their previous operations, including their cherished fee structures and love of leverage.

Their new label became "private equity," a name that turns the facts upside-down: A purchase of a business by these firms almost invariably results in dramatic *reductions* in the equity portion of the acquiree's capital structure compared to that previously existing. A number of these acquirees, purchased only two to three years ago, are now in mortal danger because of the debt piled on them by their private-equity buyers. Much of the bank debt is selling below 70¢ on the dollar, and the public debt has taken a far greater beating. The private-equity firms, it should be noted, are not rushing in to inject the equity their wards now desperately need. Instead, they're keeping their remaining funds *very* private.

In the regulated utility field there are no large family-owned businesses. Here, Berkshire hopes to be the "buyer of choice" of *regulators*. It is they, rather than selling shareholders, who judge the fitness of purchasers when transactions are proposed.

There is no hiding your history when you stand before these regulators. They can – and do – call their counterparts in other states where you operate and ask how you have behaved in respect to all aspects of the business, including a willingness to commit adequate equity capital.

When MidAmerican proposed its purchase of PacifiCorp in 2005, regulators in the six new states we would be serving immediately checked our record in Iowa. They also carefully evaluated our financing plans and capabilities. We passed this examination, just as we expect to pass future ones.

There are two reasons for our confidence. First, Dave Sokol and Greg Abel are going to run any businesses with which they are associated in a first-class manner. They don't know of any other way to operate. Beyond that is the fact that we hope to buy more regulated utilities in the future – and we know that our business behavior in jurisdictions where we are operating today will determine how we are welcomed by new jurisdictions tomorrow.

Insurance

Our insurance group has propelled Berkshire's growth since we first entered the business in 1967. This happy result has not been due to general prosperity in the industry. During the 25 years ending in 2007, return on net worth for insurers averaged 8.5% versus 14.0% for the Fortune 500. Clearly our insurance CEOs have not had the wind at their back. Yet these managers have excelled to a degree Charlie and I never dreamed possible in the early days. Why do I love them? Let me count the ways.

At GEICO, Tony Nicely – now in his 48th year at the company after joining it when he was 18 – continues to gobble up market share while maintaining disciplined underwriting. When Tony became CEO in 1993, GEICO had 2.0% of the auto insurance market, a level at which the company had long been stuck. Now we have a 7.7% share, up from 7.2% in 2007.

The combination of new business gains and an improvement in the renewal rate on existing business has moved GEICO into the number three position among auto insurers. In 1995, when Berkshire purchased control, GEICO was number seven. Now we trail only State Farm and Allstate.

GEICO grows because it saves money for motorists. No one *likes* to buy auto insurance. But virtually everyone likes to drive. So, sensibly, drivers look for the lowest-cost insurance consistent with first-class service. Efficiency is the key to low cost, and efficiency is Tony's specialty. Five years ago the number of policies per employee was 299. In 2008, the number was 439, a huge increase in productivity.

As we view GEICO's current opportunities, Tony and I feel like two hungry mosquitoes in a nudist camp. Juicy targets are everywhere. First, and most important, our new business in auto insurance is now exploding. Americans are focused on saving money as never before, and they are flocking to GEICO. In January 2009, we set a monthly record – by a wide margin – for growth in policyholders. That record will last exactly 28 days: As we go to press, it's clear February's gain will be even better.

Beyond this, we are gaining ground in allied lines. Last year, our motorcycle policies increased by 23.4%, which raised our market share from about 6% to more than 7%. Our RV and ATV businesses are also growing rapidly, albeit from a small base. And, finally, we recently began insuring commercial autos, a big market that offers real promise.

GEICO is now saving money for millions of Americans. Go to GEICO.com or call 1-800-847-7536 and see if we can save you money as well.

General Re, our large international reinsurer, also had an outstanding year in 2008. Some time back, the company had serious problems (which I totally failed to detect when we purchased it in late 1998). By 2001, when Joe Brandon took over as CEO, assisted by his partner, Tad Montross, General Re's culture had further deteriorated, exhibiting a loss of discipline in underwriting, reserving and expenses. After Joe and Tad took charge, these problems were decisively and successfully addressed. Today General Re has regained its luster. Last spring Joe stepped down, and Tad became CEO. Charlie and I are grateful to Joe for righting the ship and are certain that, with Tad, General Re's future is in the best of hands.

Reinsurance is a business of long-term promises, sometimes extending for fifty years or more. This past year has retaught clients a crucial principle: A promise is no better than the person or institution making it. That's where General Re excels: It is the *only* reinsurer that is backed by an AAA corporation. Ben Franklin once said, "It's difficult for an empty sack to stand upright." That's no worry for General Re clients.

Our third major insurance operation is Ajit Jain's reinsurance division, headquartered in Stamford and staffed by only 31 employees. This may be one of the most remarkable businesses in the world, hard to characterize but easy to admire.

From year to year, Ajit's business is never the same. It features very large transactions, incredible speed of execution and a willingness to quote on policies that leave others scratching their heads. When there is a huge and unusual risk to be insured, Ajit is almost certain to be called.

Ajit came to Berkshire in 1986. Very quickly, I realized that we had acquired an extraordinary talent. So I did the logical thing: I wrote his parents in New Delhi and asked if they had another one like him at home. Of course, I knew the answer before writing. There *isn't* anyone like Ajit.

Our smaller insurers are just as outstanding in their own way as the "big three," regularly delivering valuable float to us at a negative cost. We aggregate their results below under "Other Primary." For space reasons, we don't discuss these insurers individually. But be assured that Charlie and I appreciate the contribution of each.

Here is the record for the four legs to our insurance stool. The underwriting profits signify that all four provided funds to Berkshire last year without cost, just as they did in 2007. And in both years our underwriting profitability was considerably better than that achieved by the industry. Of course, we ourselves will periodically have a terrible year in insurance. But, overall, I expect us to *average* an underwriting profit. If so, we will be using free funds of large size for the indefinite future.

	Underwriting Profit		*Yearend Float*	
			(in millions)	
Insurance Operations	*2008*	*2007*	*2008*	*2007*
General Re	$ 342	$ 555	$21,074	$23,009
BH Reinsurance	1,324	1,427	24,221	23,692
GEICO	916	1,113	8,454	7,768
Other Primary	210	279	4,739	4,229
	$2,792	$3,374	$58,488	$58,698

Manufacturing, Service and Retailing Operations

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/08 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 2,497	Notes payable	$ 2,212
Accounts and notes receivable	5,047	Other current liabilities	8,087
Inventory	7,500	Total current liabilities	10,299
Other current assets	752		
Total current assets	15,796		
Goodwill and other intangibles	16,515	Deferred taxes	2,786
Fixed assets	16,338	Term debt and other liabilities	6,033
Other assets	1,248	Equity	30,779
	$49,897		$49,897

Earnings Statement (in millions)

	2008	*2007*	*2006*
Revenues	$66,099	$59,100	$52,660
Operating expenses (including depreciation of $1,280 in 2008, $955 in 2007 and $823 in 2006)	61,937	55,026	49,002
Interest expense	139	127	132
Pre-tax earnings	4,023*	3,947*	3,526*
Income taxes and minority interests	1,740	1,594	1,395
Net income	$ 2,283	$ 2,353	$ 2,131

*Does not include purchase-accounting adjustments.

This motley group, which sells products ranging from lollipops to motor homes, earned an impressive 17.9% on average tangible net worth last year. It's also noteworthy that these operations used only minor financial leverage in achieving that return. Clearly we own some terrific businesses. We purchased many of them, however, at large premiums to net worth – a point reflected in the goodwill item shown on our balance sheet – and that fact reduces the earnings on our average *carrying* value to 8.1%.

Though the full-year result was satisfactory, earnings of many of the businesses in this group hit the skids in last year's fourth quarter. Prospects for 2009 look worse. Nevertheless, the group retains strong earning power even under today's conditions and will continue to deliver significant cash to the parent company. Overall, these companies improved their competitive positions last year, partly because our financial strength let us make advantageous tuck-in acquisitions. In contrast, many competitors were treading water (or sinking).

The most noteworthy of these acquisitions was Iscar's late-November purchase of Tungaloy, a leading Japanese producer of small tools. Charlie and I continue to look with astonishment – and appreciation! – at the accomplishments of Iscar's management. To secure one manager like Eitan Wertheimer, Jacob Harpaz or Danny Goldman when we acquire a company is a blessing. Getting three is like winning the Triple Crown. Iscar's growth since our purchase has exceeded our expectations – which were high – and the addition of Tungaloy will move performance to the next level.

MiTek, Benjamin Moore, Acme Brick, Forest River, Marmon and CTB also made one or more acquisitions during the year. CTB, which operates worldwide in the agriculture equipment field, has now picked up six small firms since we purchased it in 2002. At that time, we paid $140 million for the company. Last year its pre-tax earnings were $89 million. Vic Mancinelli, its CEO, followed Berkshire-like operating principles long before our arrival. He focuses on blocking and tackling, day by day doing the little things right and never getting off course. Ten years from now, Vic will be running a much larger operation and, more important, will be earning excellent returns on invested capital.

Finance and Financial Products

I will write here at some length about the mortgage operation of Clayton Homes and skip any financial commentary, which is summarized in the table at the end of this section. I do this because Clayton's recent experience may be useful in the public-policy debate about housing and mortgages. But first a little background.

Clayton is the largest company in the manufactured home industry, delivering 27,499 units last year. This came to about 34% of the industry's 81,889 total. Our share will likely grow in 2009, partly because much of the rest of the industry is in acute distress. Industrywide, units sold have steadily declined since they hit a peak of 372,843 in 1998.

At that time, much of the industry employed sales practices that were atrocious. Writing about the period somewhat later, I described it as involving "borrowers who shouldn't have borrowed being financed by lenders who shouldn't have lent."

To begin with, the need for meaningful down payments was frequently ignored. Sometimes fakery was involved. ("That certainly looks like a $2,000 cat to me" says the salesman who will receive a $3,000 commission if the loan goes through.) Moreover, impossible-to-meet monthly payments were being agreed to by borrowers who signed up because they had nothing to lose. The resulting mortgages were usually packaged ("securitized") and sold by Wall Street firms to unsuspecting investors. This chain of folly had to end badly, and it did.

Clayton, it should be emphasized, followed far more sensible practices in its own lending throughout that time. Indeed, no purchaser of the mortgages it originated and then securitized has ever lost a dime of principal or interest. But Clayton was the exception; industry losses were staggering. And the hangover continues to this day.

This 1997-2000 fiasco should have served as a canary-in-the-coal-mine warning for the far-larger conventional housing market. But investors, government and rating agencies learned exactly nothing from the manufactured-home debacle. Instead, in an eerie rerun of that disaster, the same mistakes were repeated with conventional homes in the 2004-07 period: Lenders happily made loans that borrowers couldn't repay out of their incomes, and borrowers just as happily signed up to meet those payments. Both parties counted on "house-price appreciation" to make this otherwise impossible arrangement work. It was Scarlett O'Hara all over again: "I'll think about it tomorrow." The consequences of this behavior are now reverberating through every corner of our economy.

Clayton's 198,888 borrowers, however, have continued to pay normally throughout the housing crash, handing us no unexpected losses. This is *not* because these borrowers are unusually creditworthy, a point proved by FICO scores (a standard measure of credit risk). Their median FICO score is 644, compared to a national median of 723, and about 35% are below 620, the segment usually designated "sub-prime." Many disastrous pools of mortgages on conventional homes are populated by borrowers with far better credit, as measured by FICO scores.

Yet at yearend, our delinquency rate on loans we have originated was 3.6%, up only modestly from 2.9% in 2006 and 2.9% in 2004. (In addition to our originated loans, we've also bought bulk portfolios of various types from other financial institutions.) Clayton's foreclosures during 2008 were 3.0% of originated loans compared to 3.8% in 2006 and 5.3% in 2004.

Why are our borrowers – characteristically people with modest incomes and far-from-great credit scores – performing so well? The answer is elementary, going right back to Lending 101. Our borrowers simply looked at how full-bore mortgage payments would compare with their actual – not hoped-for – income and then decided whether they could live with that commitment. Simply put, they took out a mortgage with the intention of paying it off, whatever the course of home prices.

Just as important is what our borrowers did *not* do. They did not count on making their loan payments by means of refinancing. They did not sign up for "teaser" rates that upon reset were outsized relative to their income. And they did not assume that they could always sell their home at a profit if their mortgage payments became onerous. Jimmy Stewart would have loved these folks.

Of course, a number of our borrowers will run into trouble. They generally have no more than minor savings to tide them over if adversity hits. The major cause of delinquency or foreclosure is the loss of a job, but death, divorce and medical expenses all cause problems. If unemployment rates rise – as they surely will in 2009 – more of Clayton's borrowers will have troubles, and we will have larger, though still manageable, losses. But our problems will not be driven to any extent by the trend of home prices.

Commentary about the current housing crisis often ignores the crucial fact that most foreclosures do *not* occur because a house is worth less than its mortgage (so-called "upside-down" loans). Rather, foreclosures take place because borrowers can't pay the monthly payment that they agreed to pay. Homeowners who have made a meaningful down-payment – derived from savings and not from other borrowing – seldom walk away from a primary residence simply because its value today is less than the mortgage. Instead, they walk when they can't make the monthly payments.

Home ownership is a wonderful thing. My family and I have enjoyed my present home for 50 years, with more to come. But enjoyment and utility should be the primary motives for purchase, not profit or refi possibilities. And the home purchased ought to fit the income of the purchaser.

The present housing debacle should teach home buyers, lenders, brokers and government some simple lessons that will ensure stability in the future. Home purchases should involve an honest-to-God down payment of at least 10% and monthly payments that can be comfortably handled by the borrower's income. That income should be carefully verified.

Putting people into homes, though a desirable goal, shouldn't be our country's primary objective. Keeping them in their homes should be the ambition.

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Clayton's lending operation, though not damaged by the performance of its borrowers, is nevertheless threatened by an element of the credit crisis. Funders that have access to any sort of government guarantee – banks with FDIC-insured deposits, large entities with commercial paper now backed by the Federal Reserve, and others who are using imaginative methods (or lobbying skills) to come under the government's umbrella – have money costs that are minimal. Conversely, highly-rated companies, such as Berkshire, are experiencing borrowing costs that, in relation to Treasury rates, are at record levels. Moreover, funds are abundant for the government-guaranteed borrower but often scarce for others, no matter how creditworthy they may be.

This unprecedented "spread" in the cost of money makes it unprofitable for any lender who doesn't enjoy government-guaranteed funds to go up against those with a favored status. Government is determining the "haves" and "have-nots." That is why companies are rushing to convert to bank holding companies, not a course feasible for Berkshire.

Though Berkshire's credit is pristine – we are one of only seven AAA corporations in the country – our cost of borrowing is now *far* higher than competitors with shaky balance sheets but government backing. At the moment, it is much better to be a financial cripple with a government guarantee than a Gibraltar without one.

Today's extreme conditions may soon end. At worst, we believe we will find at least a partial solution that will allow us to continue much of Clayton's lending. Clayton's earnings, however, will surely suffer if we are forced to compete for long against government-favored lenders.

	Pre-Tax Earnings *(in millions)*	
	2008	*2007*
Net investment income	$330	$ 272
Life and annuity operation	23	(60)
Leasing operations	87	111
Manufactured-housing finance (Clayton)	206	526
Other*	141	157
Income before investment and derivatives gains or losses	$787	$1,006

*Includes $92 million in 2008 and $85 million in 2007 of fees that Berkshire charges Clayton for the use of Berkshire's credit.

Tax-Exempt Bond Insurance

Early in 2008, we activated Berkshire Hathaway Assurance Company ("BHAC") as an insurer of the tax-exempt bonds issued by states, cities and other local entities. BHAC insures these securities for issuers both at the time their bonds are sold to the public (primary transactions) and later, when the bonds are already owned by investors (secondary transactions).

By yearend 2007, the half dozen or so companies that had been the major players in this business had all fallen into big trouble. The cause of their problems was captured long ago by Mae West: "I was Snow White, but I drifted."

The monolines (as the bond insurers are called) initially insured only tax-exempt bonds that were low-risk. But over the years competition for this business intensified, and rates fell. Faced with the prospect of stagnating or declining earnings, the monoline managers turned to ever-riskier propositions. Some of these involved the insuring of residential mortgage obligations. When housing prices plummeted, the monoline industry quickly became a basket case.

Early in the year, Berkshire offered to assume all of the insurance issued on tax-exempts that was on the books of the three largest monolines. These companies were all in life-threatening trouble (though they said otherwise.) We would have charged a 1½% rate to take over the guarantees on about $822 billion of bonds. If our offer had been accepted, we would have been required to pay any losses suffered by investors who owned these bonds – a guarantee stretching for 40 years in some cases. Ours was not a frivolous proposal: For reasons we will come to later, it involved substantial risk for Berkshire.

The monolines summarily rejected our offer, in some cases appending an insult or two. In the end, though, the turndowns proved to be *very* good news for us, because it became apparent that I had severely underpriced our offer.

Thereafter, we wrote about $15.6 billion of insurance in the secondary market. And here's the punch line: About 77% of this business was on bonds that were already insured, largely by the three aforementioned monolines. In these agreements, we have to pay for defaults *only* if the original insurer is financially unable to do so.

We wrote this "second-to-pay" insurance for rates averaging 3.3%. That's right; we have been paid far more for becoming the second to pay than the 1.5% we would have earlier charged to be the first to pay. In one extreme case, we actually agreed to be *fourth* to pay, nonetheless receiving about three times the 1% premium charged by the monoline that remains *first* to pay. In other words, three other monolines have to first go broke before we need to write a check.

Two of the three monolines to which we made our initial bulk offer later raised substantial capital. This, of course, directly helps *us*, since it makes it less likely that we will have to pay, at least in the near term, any claims on our second-to-pay insurance because these two monolines fail. In addition to our book of secondary business, we have also written $3.7 billion of primary business for a premium of $96 million. In primary business, of course, we are first to pay if the issuer gets in trouble.

We have a great many more multiples of capital behind the insurance we write than does any other monoline. Consequently, our guarantee is far more valuable than theirs. This explains why many sophisticated investors have bought second-to-pay insurance from us even though they were already insured by another monoline. BHAC has become not only the insurer of preference, but in many cases the *sole* insurer acceptable to bondholders.

Nevertheless, we remain very cautious about the business we write and regard it as far from a sure thing that this insurance will ultimately be profitable for us. The reason is simple, though I have never seen even a passing reference to it by any financial analyst, rating agency or monoline CEO.

The rationale behind very low premium rates for insuring tax-exempts has been that defaults have historically been few. But that record largely reflects the experience of entities that issued *uninsured* bonds. Insurance of tax-exempt bonds didn't exist before 1971, and even after that most bonds remained uninsured.

A universe of tax-exempts fully covered by insurance would be certain to have a somewhat different loss experience from a group of uninsured, but otherwise similar bonds, the only question being *how* different. To understand why, let's go back to 1975 when New York City was on the edge of bankruptcy. At the time its bonds – virtually all uninsured – were heavily held by the city's wealthier residents as well as by New York banks and other institutions. These local bondholders deeply desired to solve the city's fiscal problems. So before long, concessions and cooperation from a host of involved constituencies produced a solution. Without one, it was apparent to all that New York's citizens and businesses would have experienced widespread and severe financial losses from their bond holdings.

Now, imagine that all of the city's bonds had instead been insured by Berkshire. Would similar belt-tightening, tax increases, labor concessions, etc. have been forthcoming? Of course not. At a minimum, Berkshire would have been asked to "share" in the required sacrifices. And, considering our deep pockets, the required contribution would most certainly have been substantial.

Local governments are going to face *far* tougher fiscal problems in the future than they have to date. The pension liabilities I talked about in last year's report will be a huge contributor to these woes. Many cities and states were surely horrified when they inspected the status of their funding at yearend 2008. The gap between assets and a realistic actuarial valuation of present liabilities is simply staggering.

When faced with large revenue shortfalls, communities that have all of their bonds insured will be more prone to develop "solutions" less favorable to bondholders than those communities that have uninsured bonds held by local banks and residents. Losses in the tax-exempt arena, when they come, are also likely to be highly correlated among issuers. If a few communities stiff their creditors and get away with it, the chance that others will follow in their footsteps will grow. What mayor or city council is going to choose pain to local citizens in the form of major tax increases over pain to a far-away bond insurer?

Insuring tax-exempts, therefore, has the look today of a dangerous business – one with similarities, in fact, to the insuring of natural catastrophes. In both cases, a string of loss-free years can be followed by a devastating experience that more than wipes out all earlier profits. We will try, therefore, to proceed carefully in this business, eschewing many classes of bonds that other monolines regularly embrace.

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The type of fallacy involved in projecting loss experience from a universe of non-insured bonds onto a deceptively-similar universe in which many bonds are insured pops up in other areas of finance. "Back-tested" models of many kinds are susceptible to this sort of error. Nevertheless, they are frequently touted in financial markets as guides to future action. (If merely looking up past financial data would tell you what the future holds, the Forbes 400 would consist of librarians.)

Indeed, the stupefying losses in mortgage-related securities came in large part because of flawed, history-based models used by salesmen, rating agencies and investors. These parties looked at loss experience over periods when home prices rose only moderately and speculation in houses was negligible. They then made this experience a yardstick for evaluating future losses. They blissfully ignored the fact that house prices had recently skyrocketed, loan practices had deteriorated and many buyers had opted for houses they couldn't afford. In short, universe "past" and universe "current" had very different characteristics. But lenders, government and media largely failed to recognize this all-important fact.

Investors should be skeptical of history-based models. Constructed by a nerdy-sounding priesthood using esoteric terms such as beta, gamma, sigma and the like, these models tend to look impressive. Too often, though, investors forget to examine the assumptions behind the symbols. Our advice: Beware of geeks bearing formulas.

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A final post-script on BHAC: Who, you may wonder, runs this operation? While I help set policy, all of the heavy lifting is done by Ajit and his crew. Sure, they were already generating $24 billion of float along with hundreds of millions of underwriting profit annually. But how busy can that keep a 31-person group? Charlie and I decided it was high time for them to start doing a full day's work.

Investments

Because of accounting rules, we divide our large holdings of common stocks this year into two categories. The table below, presenting the first category, itemizes investments that are carried on our balance sheet at market value and that had a yearend value of more than $500 million.

			12/31/08	
Shares	*Company*	*Percentage of Company Owned*	*Cost**	*Market*
			(in millions)	
151,610,700	American Express Company	13.1	$ 1,287	$ 2,812
200,000,000	The Coca-Cola Company	8.6	1,299	9,054
84,896,273	ConocoPhillips	5.7	7,008	4,398
30,009,591	Johnson & Johnson	1.1	1,847	1,795
130,272,500	Kraft Foods Inc.	8.9	4,330	3,498
3,947,554	POSCO	5.2	768	1,191
91,941,010	The Procter & Gamble Company	3.1	643	5,684
22,111,966	Sanofi-Aventis	1.7	1,827	1,404
11,262,000	Swiss Re	3.2	773	530
227,307,000	Tesco plc	2.9	1,326	1,193
75,145,426	U.S. Bancorp	4.3	2,337	1,879
19,944,300	Wal-Mart Stores, Inc.	0.5	942	1,118
1,727,765	The Washington Post Company	18.4	11	674
304,392,068	Wells Fargo & Company	7.2	6,702	8,973
	Others		6,035	4,870
	Total Common Stocks Carried at Market		$37,135	$49,073

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required.

In addition, we have holdings in Moody's and Burlington Northern Santa Fe that we now carry at "equity value" – our cost plus retained earnings since our purchase, minus the tax that would be paid if those earnings were paid to us as dividends. This accounting treatment is usually required when ownership of an investee company reaches 20%.

We purchased 15% of Moody's some years ago and have not since bought a share. Moody's, though, has repurchased its own shares and, by late 2008, those repurchases reduced its outstanding shares to the point that our holdings rose above 20%. Burlington Northern has also repurchased shares, but our increase to 20% primarily occurred because we continued to buy this stock.

Unless facts or rules change, you will see these holdings reflected in our balance sheet at "equity accounting" values, whatever their market prices. You will also see our share of their earnings (less applicable taxes) regularly included in our quarterly and annual earnings.

I told you in an earlier part of this report that last year I made a major mistake of commission (and maybe more; this one sticks out). Without urging from Charlie or anyone else, I bought a large amount of ConocoPhillips stock when oil and gas prices were near their peak. I in no way anticipated the dramatic fall in energy prices that occurred in the last half of the year. I still believe the odds are good that oil sells far higher in the future than the current $40-$50 price. But so far I have been dead wrong. Even if prices should rise, moreover, the terrible timing of my purchase has cost Berkshire several billion dollars.

I made some other already-recognizable errors as well. They were smaller, but unfortunately not *that* small. During 2008, I spent $244 million for shares of two Irish banks that appeared cheap to me. At yearend we wrote these holdings down to market: $27 million, for an 89% loss. Since then, the two stocks have declined even further. The tennis crowd would call my mistakes "unforced errors."

On the plus side last year, we made purchases totaling $14.5 billion in fixed-income securities issued by Wrigley, Goldman Sachs and General Electric. We very much like these commitments, which carry high current yields that, in themselves, make the investments more than satisfactory. But in each of these three purchases, we also acquired a substantial equity participation as a bonus. To fund these large purchases, I had to sell portions of some holdings that I would have preferred to keep (primarily Johnson & Johnson, Procter & Gamble and ConocoPhillips). However, I have pledged – to you, the rating agencies and myself – to always run Berkshire with more than ample cash. We never want to count on the kindness of strangers in order to meet tomorrow's obligations. When forced to choose, I will not trade even a night's sleep for the chance of extra profits.

The investment world has gone from underpricing risk to overpricing it. This change has not been minor; the pendulum has covered an extraordinary arc. A few years ago, it would have seemed unthinkable that yields like today's could have been obtained on good-grade municipal or corporate bonds even while risk-free governments offered near-zero returns on short-term bonds and no better than a pittance on long-terms. When the financial history of this decade is written, it will surely speak of the Internet bubble of the late 1990s and the housing bubble of the early 2000s. But the U.S. Treasury bond bubble of late 2008 may be regarded as almost equally extraordinary.

Clinging to cash equivalents or long-term government bonds at present yields is almost certainly a terrible policy if continued for long. Holders of these instruments, of course, have felt increasingly comfortable – in fact, almost smug – in following this policy as financial turmoil has mounted. They regard their judgment confirmed when they hear commentators proclaim "cash is king," even though that wonderful cash is earning close to nothing and will surely find its purchasing power eroded over time.

Approval, though, is not the goal of investing. In fact, approval is often counter-productive because it sedates the brain and makes it less receptive to new facts or a re-examination of conclusions formed earlier. Beware the investment activity that produces applause; the great moves are usually greeted by yawns.

Derivatives

Derivatives are dangerous. They have dramatically increased the leverage and risks in our financial system. They have made it almost impossible for investors to understand and analyze our largest commercial banks and investment banks. They allowed Fannie Mae and Freddie Mac to engage in massive misstatements of earnings for years. So indecipherable were Freddie and Fannie that their federal regulator, OFHEO, whose more than 100 employees had no job except the oversight of these two institutions, totally missed their cooking of the books.

Indeed, recent events demonstrate that certain big-name CEOs (or former CEOs) at major financial institutions were simply incapable of managing a business with a huge, complex book of derivatives. Include Charlie and me in this hapless group: When Berkshire purchased General Re in 1998, we knew we could not get our minds around its book of 23,218 derivatives contracts, made with 884 counterparties (many of which we had never heard of). So we decided to close up shop. Though we were under no pressure and were operating in benign markets as we exited, it took us five years and more than $400 million in losses to largely complete the task. Upon leaving, our feelings about the business mirrored a line in a country song: "I liked you better before I got to know you so well."

Improved "transparency" – a favorite remedy of politicians, commentators and financial regulators for averting future train wrecks – won't cure the problems that derivatives pose. I know of no reporting mechanism that would come close to describing and measuring the risks in a huge and complex portfolio of derivatives. Auditors can't audit these contracts, and regulators can't regulate them. When I read the pages of "disclosure" in 10-Ks of companies that are entangled with these instruments, all I end up knowing is that I *don't* know what is going on in their portfolios (and then I reach for some aspirin).

For a case study on regulatory effectiveness, let's look harder at the Freddie and Fannie example. These giant institutions were created by Congress, which retained control over them, dictating what they could and could not do. To aid its oversight, Congress created OFHEO in 1992, admonishing it to make sure the two behemoths were behaving themselves. With that move, Fannie and Freddie became the most intensely-regulated companies of which I am aware, as measured by manpower assigned to the task.

On June 15, 2003, OFHEO (whose annual reports are available on the Internet) sent its 2002 report to Congress – specifically to its four bosses in the Senate and House, among them none other than Messrs. Sarbanes and Oxley. The report's 127 pages included a self-congratulatory cover-line: "Celebrating 10 Years of Excellence." The transmittal letter and report were delivered nine days *after* the CEO and CFO of Freddie had resigned in disgrace and the COO had been fired. No mention of their departures was made in the letter, even while the report concluded, as it always did, that "Both Enterprises were financially sound and well managed."

In truth, both enterprises had engaged in massive accounting shenanigans for some time. Finally, in 2006, OFHEO issued a 340-page scathing chronicle of the sins of Fannie that, more or less, blamed the fiasco on every party but – you guessed it – Congress and OFHEO.

The Bear Stearns collapse highlights the counterparty problem embedded in derivatives transactions, a time bomb I first discussed in Berkshire's 2002 report. On April 3, 2008, Tim Geithner, then the able president of the New York Fed, explained the need for a rescue: "The sudden discovery by Bear's derivative counterparties that important financial positions they had put in place to protect themselves from financial risk were no longer operative would have triggered substantial further dislocation in markets. This would have precipitated a rush by Bear's counterparties to liquidate the collateral they held against those positions and to attempt to replicate those positions in already very fragile markets." This is Fedspeak for "We stepped in to avoid a financial chain reaction of unpredictable magnitude." In my opinion, the Fed was right to do so.

A normal stock or bond trade is completed in a few days with one party getting its cash, the other its securities. Counterparty risk therefore quickly disappears, which means credit problems can't accumulate. This rapid settlement process is key to maintaining the integrity of markets. That, in fact, is a reason for NYSE and NASDAQ *shortening* the settlement period from five days to three days in 1995.

Derivatives contracts, in contrast, often go unsettled for years, or even decades, with counterparties building up huge claims against each other. "Paper" assets and liabilities – often hard to quantify – become important parts of financial statements though these items will not be validated for many years. Additionally, a frightening web of mutual dependence develops among huge financial institutions. Receivables and payables by the billions become concentrated in the hands of a few large dealers who are apt to be highly-leveraged in other ways as well. Participants seeking to dodge troubles face the same problem as someone seeking to avoid venereal disease: It's not just whom *you* sleep with, but also whom *they* are sleeping with.

Sleeping around, to continue our metaphor, can actually be useful for large derivatives dealers because it assures them government aid if trouble hits. In other words, only companies having problems that can infect the entire neighborhood – I won't mention names – are certain to become a concern of the state (an outcome, I'm sad to say, that is proper). From this irritating reality comes *The First Law of Corporate Survival* for ambitious CEOs who pile on leverage and run large and unfathomable derivatives books: Modest incompetence simply won't do; it's mindboggling screw-ups that are required.

Considering the ruin I've pictured, you may wonder why Berkshire is a party to 251 derivatives contracts (other than those used for operational purposes at MidAmerican and the few left over at Gen Re). The answer is simple: I believe each contract we own was mispriced at inception, sometimes dramatically so. I both initiated these positions and monitor them, a set of responsibilities consistent with my belief that the CEO of any large financial organization *must* be the Chief Risk Officer as well. If we lose money on our derivatives, it will be my fault.

Our derivatives dealings require our counterparties to make payments to us when contracts are initiated. Berkshire therefore always holds the money, which leaves us assuming no meaningful counterparty risk. As of yearend, the payments made to us less losses we have paid – our derivatives "float," so to speak – totaled $8.1 billion. This float is similar to insurance float: If we break even on an underlying transaction, we will have enjoyed the use of free money for a long time. Our expectation, though it is far from a sure thing, is that we will do better than break even and that the substantial investment income we earn on the funds will be frosting on the cake.

Only a small percentage of our contracts call for any posting of collateral when the market moves against us. Even under the chaotic conditions existing in last year's fourth quarter, we had to post less than 1% of our securities portfolio. (When we post collateral, we deposit it with third parties, meanwhile retaining the investment earnings on the deposited securities.) In our 2002 annual report, we warned of the lethal threat that posting requirements create, real-life illustrations of which we witnessed last year at a variety of financial institutions (and, for that matter, at Constellation Energy, which was within hours of bankruptcy when MidAmerican arrived to effect a rescue).

Our contracts fall into four major categories. With apologies to those who are not fascinated by financial instruments, I will explain them in excruciating detail.

- We have added modestly to the "equity put" portfolio I described in last year's report. Some of our contracts come due in 15 years, others in 20. We must make a payment to our counterparty at maturity if the reference index to which the put is tied is then below what it was at the inception of the contract. Neither party can elect to settle early; it's only the price on the final day that counts.

  To illustrate, we might sell a $1 billion 15-year put contract on the S&P 500 when that index is at, say, 1300. If the index is at 1170 – down 10% – on the day of maturity, we would pay $100 million. If it is above 1300, we owe nothing. For us to lose $1 billion, the index would have to go to zero. In the meantime, the sale of the put would have delivered us a premium – perhaps $100 million to $150 million – that we would be free to invest as we wish.

  Our put contracts total $37.1 billion (at current exchange rates) and are spread among four major indices: the S&P 500 in the U.S., the FTSE 100 in the U.K., the Euro Stoxx 50 in Europe, and the Nikkei 225 in Japan. Our first contract comes due on September 9, 2019 and our last on January 24, 2028. We have received premiums of $4.9 billion, money we have invested. We, meanwhile, have paid nothing, since all expiration dates are far in the future. Nonetheless, we have used Black-Scholes valuation methods to record a yearend liability of $10 billion, an amount that will change on every reporting date. The two financial items – this estimated loss of $10 billion minus the $4.9 billion in premiums we have received – means that we have so far reported a mark-to-market loss of $5.1 billion from these contracts.

We endorse mark-to-market accounting. I will explain later, however, why I believe the Black-Scholes formula, even though it is the standard for establishing the dollar liability for options, produces strange results when the long-term variety are being valued.

One point about our contracts that is sometimes not understood: For us to lose the full $37.1 billion we have at risk, all stocks in all four indices would have to go to *zero* on their various termination dates. If, however – as an example – all indices fell 25% from their value at the inception of each contract, and foreign-exchange rates remained as they are today, we would owe about $9 billion, payable between 2019 and 2028. Between the inception of the contract and those dates, we would have held the $4.9 billion premium and earned investment income on it.

- The second category we described in last year's report concerns derivatives requiring us to pay when credit losses occur at companies that are included in various high-yield indices. Our standard contract covers a five-year period and involves 100 companies. We modestly expanded our position last year in this category. But, of course, the contracts on the books at the end of 2007 moved one year closer to their maturity. Overall, our contracts now have an average life of 2⅓ years, with the first expiration due to occur on September 20, 2009 and the last on December 20, 2013.

  By yearend we had received premiums of $3.4 billion on these contracts and paid losses of $542 million. Using mark-to-market principles, we also set up a liability for future losses that at yearend totaled $3.0 billion. Thus we had to that point recorded a loss of about $100 million, derived from our $3.5 billion total in paid and estimated future losses minus the $3.4 billion of premiums we received. In our quarterly reports, however, the amount of gain or loss has swung wildly from a profit of $327 million in the second quarter of 2008 to a loss of $693 million in the fourth quarter of 2008.

  Surprisingly, we made payments on these contracts of only $97 million last year, far below the estimate I used when I decided to enter into them. This year, however, losses have accelerated sharply with the mushrooming of large bankruptcies. In last year's letter, I told you I expected these contracts to show a profit at expiration. Now, with the recession deepening at a rapid rate, the possibility of an eventual loss has increased. Whatever the result, I will keep you posted.

- In 2008 we began to write "credit default swaps" on individual companies. This is simply credit insurance, similar to what we write in BHAC, except that here we bear the credit risk of corporations rather than of tax-exempt issuers.

  If, say, the XYZ company goes bankrupt, and we have written a $100 million contract, we are obligated to pay an amount that reflects the shrinkage in value of a comparable amount of XYZ's debt. (If, for example, the company's bonds are selling for 30 after default, we would owe $70 million.) For the typical contract, we receive quarterly payments for five years, after which our insurance expires.

  At yearend we had written $4 billion of contracts covering 42 corporations, for which we receive annual premiums of $93 million. This is the only derivatives business we write that has any counterparty risk; the party that buys the contract from us must be good for the quarterly premiums it will owe us over the five years. We are unlikely to expand this business to any extent because most buyers of this protection now insist that the seller post collateral, and we will not enter into such an arrangement.

- At the request of our customers, we write a few tax-exempt bond insurance contracts that are similar to those written at BHAC, but that are structured as derivatives. The only meaningful difference between the two contracts is that mark-to-market accounting is required for derivatives whereas standard accrual accounting is required at BHAC.

But this difference can produce some strange results. The bonds covered – in effect, insured – by these derivatives are largely general obligations of states, and we feel good about them. At yearend, however, mark-to-market accounting required us to record a loss of $631 million on these derivatives contracts. Had we instead insured the same bonds at the same price in BHAC, and used the accrual accounting required at insurance companies, we would have recorded a small *profit* for the year. The two methods by which we insure the bonds will eventually produce the same accounting result. In the short term, however, the variance in reported profits can be substantial.

We have told you before that our derivative contracts, subject as they are to mark-to-market accounting, will produce wild swings in the earnings we report. The ups and downs neither cheer nor bother Charlie and me. Indeed, the "downs" can be helpful in that they give us an opportunity to expand a position on favorable terms. I hope this explanation of our dealings will lead you to think similarly.

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The Black-Scholes formula has approached the status of holy writ in finance, and we use it when valuing our equity put options for financial statement purposes. Key inputs to the calculation include a contract's maturity and strike price, as well as the analyst's expectations for volatility, interest rates and dividends.

If the formula is applied to extended time periods, however, it can produce absurd results. In fairness, Black and Scholes almost certainly understood this point well. But their devoted followers may be ignoring whatever caveats the two men attached when they first unveiled the formula.

It's often useful in testing a theory to push it to extremes. So let's postulate that we sell a 100- year $1 billion put option on the S&P 500 at a strike price of 903 (the index's level on 12/31/08). Using the implied volatility assumption for long-dated contracts that we do, and combining that with appropriate interest and dividend assumptions, we would find the "proper" Black-Scholes premium for this contract to be $2.5 million.

To judge the rationality of that premium, we need to assess whether the S&P will be valued a century from now at less than today. Certainly the dollar will then be worth a small fraction of its present value (at only 2% inflation it will be worth roughly 14¢). So that will be a factor pushing the stated value of the index higher. Far more important, however, is that one hundred years of retained earnings will hugely increase the value of most of the companies in the index. In the 20th Century, the Dow-Jones Industrial Average increased by about 175-fold, mainly because of this retained-earnings factor.

Considering everything, I believe the probability of a decline in the index over a one-hundred-year period to be *far* less than 1%. But let's use that figure and also assume that the most likely decline – should one occur – is 50%. Under these assumptions, the mathematical expectation of loss on our contract would be $5 million ($1 billion X 1% X 50%).

But if we had received our theoretical premium of $2.5 million up front, we would have only had to invest it at 0.7% compounded annually to cover this loss expectancy. Everything earned above that would have been profit. Would you like to borrow money for 100 years at a 0.7% rate?

Let's look at my example from a worst-case standpoint. Remember that 99% of the time we would pay nothing if my assumptions are correct. But even in the worst case among the remaining 1% of possibilities – that is, one assuming a *total* loss of $1 billion – our borrowing cost would come to only 6.2%. Clearly, either my assumptions are crazy or the formula is inappropriate.

The ridiculous premium that Black-Scholes dictates in my extreme example is caused by the inclusion of volatility in the formula and by the fact that volatility is determined by how much stocks have moved around in some past period of days, months or years. This metric is simply irrelevant in estimating the probability-weighted range of values of American business 100 years from now. (Imagine, if you will, getting a quote every day on a farm from a manic-depressive neighbor and then using the volatility calculated from these changing quotes as an important ingredient in an equation that predicts a probability-weighted range of values for the farm a century from now.)

Though historical volatility is a useful – but far from foolproof – concept in valuing short-term options, its utility diminishes rapidly as the duration of the option lengthens. In my opinion, the valuations that the Black-Scholes formula now place on our long-term put options overstate our liability, though the overstatement will diminish as the contracts approach maturity.

Even so, we will continue to use Black-Scholes when we are estimating our financial-statement liability for long-term equity puts. The formula represents conventional wisdom and any substitute that I might offer would engender extreme skepticism. That would be perfectly understandable: CEOs who have concocted their own valuations for esoteric financial instruments have seldom erred on the side of conservatism. That club of optimists is one that Charlie and I have no desire to join.

The Annual Meeting

Our meeting this year will be held on Saturday, May 2nd. As always, the doors will open at the Qwest Center at 7 a.m., and a new Berkshire movie will be shown at 8:30. At 9:30 we will go directly to the question-and-answer period, which (with a break for lunch at the Qwest's stands) will last until 3:00. Then, after a short recess, Charlie and I will convene the annual meeting at 3:15. If you decide to leave during the day's question periods, please do so while *Charlie* is talking.

The best reason to exit, of course, is to *shop*. We will help you do that by filling the 194,300-square-foot hall that adjoins the meeting area with the products of Berkshire subsidiaries. Last year, the 31,000 people who came to the meeting did their part, and almost every location racked up record sales. But you can do better. (A friendly warning: If I find sales are lagging, I lock the exits.)

This year Clayton will showcase its new *i-house* that includes Shaw flooring, Johns Manville insulation and MiTek fasteners. This innovative "green" home, featuring solar panels and numerous other energy-saving products, is truly a home of the future. Estimated costs for electricity and heating total only about $1 per day when the home is sited in an area like Omaha. After purchasing the *i-house*, you should next consider the Forest River RV and pontoon boat on display nearby. Make your neighbors jealous.

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a shareholder discount (usually 8%). This special offer is permitted by 44 of the 50 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another, such as that given certain groups.) Bring the details of your existing insurance and check out whether we can save you money. For at least 50% of you, I believe we can.

On Saturday, at the Omaha airport, we will have the usual array of NetJets aircraft available for your inspection. Stop by the NetJets booth at the Qwest to learn about viewing these planes. Come to Omaha by bus; leave in your new plane. And take along – with no fear of a strip search – the Ginsu knives that you've purchased at the exhibit of our Quikut subsidiary.

Next, if you have any money left, visit the Bookworm, which will be selling about 30 books and DVDs. A shipping service will be available for those whose thirst for knowledge exceeds their carrying capacity.

Finally, we will have three fascinating cars on the exhibition floor, including one from the past and one of the future. Paul Andrews, CEO of our subsidiary, TTI, will bring his 1935 Duesenberg, a car that once belonged to Mrs. Forrest Mars, Sr., parent and grandparent of our new partners in the Wrigley purchase. The future will be represented by a new plug-in electric car developed by BYD, an amazing Chinese company in which we have a 10% interest.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. Carol Pedersen, who handles these matters, does a terrific job for us each year, and I thank her for it. Hotel rooms can be hard to find, but work with Carol and you will get one.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. We initiated this special event at NFM twelve years ago, and sales during the "Weekend" grew from $5.3 million in 1997 to a record $33.3 million in 2008. On Saturday of that weekend, we also set a single day record of $7.2 million. Ask any retailer what he thinks of such volume.

To obtain the Berkshire discount, you must make your purchases between Thursday, April 30th and Monday, May 4th inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m. to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m., NFM is having a western cookout to which you are all invited.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 10 p.m. on Friday, May 1st. The second, the main gala, will be held on Sunday, May 3rd, from 9 a.m. to 4 p.m. On Saturday, we will be open until 6 p.m.

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 27th through Saturday, May 9th. During that period, please identify yourself as a shareholder by presenting your meeting credentials or a brokerage statement that shows you are a Berkshire holder.

On Sunday, in the mall outside of Borsheims, a blindfolded Patrick Wolff, twice U.S. chess champion, will take on all comers – who will have their eyes wide open – in groups of six. Nearby, Norman Beck, a remarkable magician from Dallas, will bewilder onlookers. Additionally, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play bridge with our shareholders on Sunday afternoon.

Gorat's will again be open exclusively for Berkshire shareholders on Sunday, May 3rd, and will be serving from 1 p.m. until 10 p.m. Last year Gorat's, which seats 240, served 975 dinners on Shareholder Sunday. The three-day total was 2,448 including 702 T-bone steaks, the entrée preferred by the *cognoscenti*. Please don't embarrass me by ordering foie gras. Remember: To come to Gorat's on that day, you must have a reservation. To make one, call 402-551-3733 on April 1st (*but not before*).

We will again have a reception at 4 p.m. on Saturday afternoon for shareholders who have come from outside North America. Every year our meeting draws many people from around the globe, and Charlie and I want to be sure we personally greet those who have come so far. Last year we enjoyed meeting more than 700 of you from many dozens of countries. Any shareholder who comes from outside the U.S. or Canada will be given a special credential and instructions for attending this function.

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This year we will be making important changes in how we handle the meeting's question periods. In recent years, we have received only a handful of questions directly related to Berkshire and its operations. Last year there were practically none. So we need to steer the discussion back to Berkshire's businesses.

In a related problem, there has been a mad rush when the doors open at 7 a.m., led by people who wish to be first in line at the 12 microphones available for questioners. This is not desirable from a safety standpoint, nor do we believe that sprinting ability should be the determinant of who gets to pose questions. (At age 78, I've concluded that speed afoot is a ridiculously overrated talent.) Again, a new procedure is desirable.

In our first change, several financial journalists from organizations representing newspapers, magazines and television will participate in the question-and-answer period, asking Charlie and me questions that shareholders have submitted by e-mail. The journalists and their e-mail addresses are: Carol Loomis, of Fortune, who may be emailed at cloomis@fortunemail.com; Becky Quick, of CNBC, at BerkshireQuestions@cnbc.com, and Andrew Ross Sorkin, of The New York Times, at arsorkin@nytimes.com. From the questions submitted, each journalist will choose the dozen or so he or she decides are the most interesting and important. (In your e-mail, let the journalist know if you would like your name mentioned if your question is selected.)

Neither Charlie nor I will get so much as a clue about the questions to be asked. We know the journalists will pick some tough ones and that's the way we like it.

In our second change, we will have a drawing at 8:15 at each microphone for those shareholders hoping to ask questions themselves. At the meeting, I will alternate the questions asked by the journalists with those from the winning shareholders. At least half the questions – those selected by the panel from your submissions – are therefore certain to be Berkshire-related. We will meanwhile continue to get some good – and perhaps entertaining – questions from the audience as well.

So join us at our Woodstock for Capitalists and let us know how you like the new format. Charlie and I look forward to seeing you.

February 27, 2009

Warren E. Buffett
Chairman of the Board

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
2004	10.5	10.9	(.4)
2005	6.4	4.9	1.5
2006	18.4	15.8	2.6
2007	11.0	5.5	5.5
2008	(9.6)	(37.0)	27.4
2009	19.8	26.5	(6.7)
Compounded Annual Gain – 1965-2009	20.3%	9.3%	11.0
Overall Gain – 1964-2009	434,057%	5,430%	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Our gain in net worth during 2009 was $21.8 billion, which increased the per-share book value of both our Class A and Class B stock by 19.8%. Over the last 45 years (that is, since present management took over) book value has grown from $19 to $84,487, a rate of 20.3% compounded annually.*

Berkshire's recent acquisition of Burlington Northern Santa Fe (BNSF) has added at least 65,000 shareholders to the 500,000 or so already on our books. It's important to Charlie Munger, my long-time partner, and me that *all* of our owners understand Berkshire's operations, goals, limitations and culture. In each annual report, consequently, we restate the economic principles that guide us. This year these principles appear on pages 89-94 and I urge all of you – but particularly our new shareholders – to read them. Berkshire has adhered to these principles for decades and will continue to do so long after I'm gone.

In this letter we will also review some of the basics of our business, hoping to provide both a freshman orientation session for our BNSF newcomers and a refresher course for Berkshire veterans.

How We Measure Ourselves

Our metrics for evaluating our managerial performance are displayed on the facing page. From the start, Charlie and I have believed in having a rational and unbending standard for measuring what we have – or have not – accomplished. That keeps us from the temptation of seeing where the arrow of performance lands and *then* painting the bull's eye around it.

Selecting the S&P 500 as our bogey was an easy choice because our shareholders, at virtually no cost, can match its performance by holding an index fund. Why should they pay us for merely duplicating that result?

A more difficult decision for us was how to measure the progress of Berkshire versus the S&P. There are good arguments for simply using the change in our stock price. Over an extended period of time, in fact, that is the best test. But year-to-year market prices can be extraordinarily erratic. Even evaluations covering as long as a decade can be greatly distorted by foolishly high or low prices at the beginning or end of the measurement period. Steve Ballmer, of Microsoft, and Jeff Immelt, of GE, can tell you about that problem, suffering as they do from the nosebleed prices at which their stocks traded when they were handed the managerial baton.

The ideal standard for measuring our yearly progress would be the change in Berkshire's per-share intrinsic value. Alas, that value cannot be calculated with anything close to precision, so we instead use a crude proxy for it: per-share book value. Relying on this yardstick has its shortcomings, which we discuss on pages 92 and 93. Additionally, book value at most companies understates intrinsic value, and that is certainly the case at Berkshire. In aggregate, our businesses are worth considerably more than the values at which they are carried on our books. In our all-important insurance business, moreover, the difference is huge. Even so, Charlie and I believe that our book value – understated though it is – supplies the most useful tracking device for changes in intrinsic value. By this measurement, as the opening paragraph of this letter states, our book value since the start of fiscal 1965 has grown at a rate of 20.3% compounded annually.

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*All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/1500th of those shown for A.

We should note that had we instead chosen *market prices* as our yardstick, Berkshire's results would look better, showing a gain since the start of fiscal 1965 of 22% compounded annually. Surprisingly, this modest difference in annual compounding rate leads to an 801,516% market-value gain for the entire 45-year period compared to the book-value gain of 434,057% (shown on page 2). Our market gain is better because in 1965 Berkshire shares sold at an appropriate discount to the book value of its underearning textile assets, whereas today Berkshire shares regularly sell at a premium to the accounting values of its first-class businesses.

Summed up, the table on page 2 conveys three messages, two positive and one hugely negative. First, we have never had *any* five-year period beginning with 1965-69 and ending with 2005-09 – and there have been 41 of these – during which our gain in book value did not exceed the S&P's gain. Second, though we have lagged the S&P in some years that were positive for the market, we have consistently done better than the S&P in the eleven years during which it delivered negative results. In other words, our defense has been better than our offense, and that's likely to continue.

The big minus is that our performance advantage has shrunk dramatically as our size has grown, an unpleasant trend that is *certain* to continue. To be sure, Berkshire has many outstanding businesses and a cadre of truly great managers, operating within an unusual corporate culture that lets them maximize their talents. Charlie and I believe these factors will continue to produce better-than-average results over time. But huge sums forge their own anchor and our future advantage, if any, will be a small fraction of our historical edge.

What We Don't Do

Long ago, Charlie laid out his strongest ambition: "All I want to know is where I'm going to die, so I'll never go there." That bit of wisdom was inspired by Jacobi, the great Prussian mathematician, who counseled "Invert, always invert" as an aid to solving difficult problems. (I can report as well that this inversion approach works on a less lofty level: Sing a country song in reverse, and you will quickly recover your car, house and wife.)

Here are a few examples of how we apply Charlie's thinking at Berkshire:

- Charlie and I avoid businesses whose futures we can't evaluate, no matter how exciting their products may be. In the past, it required no brilliance for people to foresee the fabulous growth that awaited such industries as autos (in 1910), aircraft (in 1930) and television sets (in 1950). But the future then also included competitive dynamics that would decimate almost all of the companies entering those industries. Even the survivors tended to come away bleeding.

  Just because Charlie and I can clearly see dramatic growth ahead for an industry does not mean we can judge what its profit margins and returns on capital will be as a host of competitors battle for supremacy. At Berkshire we will stick with businesses whose profit picture for decades to come seems reasonably predictable. Even then, we will make plenty of mistakes.

- We will never become dependent on the kindness of strangers. Too-big-to-fail is not a fallback position at Berkshire. Instead, we will always arrange our affairs so that any requirements for cash we may conceivably have will be dwarfed by our own liquidity. Moreover, that liquidity will be constantly refreshed by a gusher of earnings from our many and diverse businesses.

  When the financial system went into cardiac arrest in September 2008, Berkshire was a *supplier* of liquidity and capital to the system, not a supplicant. At the very peak of the crisis, we poured $15.5 billion into a business world that could otherwise look only to the federal government for help. Of that, $9 billion went to bolster capital at three highly-regarded and previously-secure American businesses that needed – *without delay* – our tangible vote of confidence. The remaining $6.5 billion satisfied our commitment to help fund the purchase of Wrigley, a deal that was completed without pause while, elsewhere, panic reigned.

We pay a steep price to maintain our premier financial strength. The $20 billion-plus of cash-equivalent assets that we customarily hold is earning a pittance at present. But we sleep well.

- We tend to let our many subsidiaries operate on their own, without our supervising and monitoring them to any degree. That means we are sometimes late in spotting management problems and that both operating and capital decisions are occasionally made with which Charlie and I would have disagreed had we been consulted. Most of our managers, however, use the independence we grant them magnificently, rewarding our confidence by maintaining an owner-oriented attitude that is invaluable and too seldom found in huge organizations. We would rather suffer the visible costs of a few bad decisions than incur the many invisible costs that come from decisions made too slowly – or not at all – because of a stifling bureaucracy.

  With our acquisition of BNSF, we now have about 257,000 employees and literally hundreds of different operating units. We hope to have many more of each. But we will never allow Berkshire to become some monolith that is overrun with committees, budget presentations and multiple layers of management. Instead, we plan to operate as a collection of separately-managed medium-sized and large businesses, most of whose decision-making occurs at the operating level. Charlie and I will limit ourselves to allocating capital, controlling enterprise risk, choosing managers and setting their compensation.

- We make no attempt to woo Wall Street. Investors who buy and sell based upon media or analyst commentary are not for us. Instead we want *partners* who join us at Berkshire because they wish to make a long-term investment in a *business* they themselves understand and because it's one that follows policies with which they concur. If Charlie and I were to go into a small venture with a few partners, we would seek individuals in sync with us, knowing that common goals and a shared destiny make for a happy business "marriage" between owners and managers. Scaling up to giant size doesn't change that truth.

  To build a compatible shareholder population, we try to communicate with our owners directly and informatively. Our goal is to tell you what we would like to know if our positions were reversed. Additionally, we try to post our quarterly and annual financial information on the Internet early on weekends, thereby giving you and other investors plenty of time during a non-trading period to digest just what has happened at our multi-faceted enterprise. (Occasionally, SEC deadlines force a non-Friday disclosure.) These matters simply can't be adequately summarized in a few paragraphs, nor do they lend themselves to the kind of catchy headline that journalists sometimes seek.

  Last year we saw, in one instance, how sound-bite reporting can go wrong. Among the 12,830 words in the annual letter was this sentence: "We are certain, for example, that the economy will be in shambles throughout 2009 – and probably well beyond – but that conclusion does not tell us whether the market will rise or fall." Many news organizations reported – indeed, blared – the first part of the sentence while making no mention whatsoever of its ending. I regard this as terrible journalism: Misinformed readers or viewers may well have thought that Charlie and I were forecasting bad things for the stock market, though we had not only in that sentence, but also elsewhere, made it clear we weren't predicting the market at all. Any investors who were misled by the sensationalists paid a big price: The Dow closed the day of the letter at 7,063 and finished the year at 10,428.

  Given a few experiences we've had like that, you can understand why I prefer that our communications with you remain as direct and unabridged as possible.

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Let's move to the specifics of Berkshire's operations. We have four major operating sectors, each differing from the others in balance sheet and income account characteristics. Therefore, lumping them together, as is standard in financial statements, impedes analysis. So we'll present them as four separate businesses, which is how Charlie and I view them.

Insurance

Our property-casualty (P/C) insurance business has been the engine behind Berkshire's growth and will continue to be. It has worked wonders for us. We carry our P/C companies on our books at $15.5 billion more than their net tangible assets, an amount lodged in our "Goodwill" account. These companies, however, are worth *far* more than their carrying value – and the following look at the economic model of the P/C industry will tell you why.

Insurers receive premiums upfront and pay claims later. In extreme cases, such as those arising from certain workers' compensation accidents, payments can stretch over decades. This collect-now, pay-later model leaves us holding large sums – money we call "float" – that will eventually go to others. Meanwhile, we get to invest this float for Berkshire's benefit. Though individual policies and claims come and go, the amount of float we hold remains remarkably stable in relation to premium volume. Consequently, as our business grows, so does our float.

If premiums exceed the total of expenses and eventual losses, we register an underwriting profit that adds to the investment income produced from the float. This combination allows us to enjoy the use of free money – and, better yet, get *paid* for holding it. Alas, the hope of this happy result attracts intense competition, so vigorous in most years as to cause the P/C industry as a whole to operate at a significant underwriting *loss*. This loss, in effect, is what the industry pays to hold its float. Usually this cost is fairly low, but in some catastrophe-ridden years the cost from underwriting losses more than eats up the income derived from use of float.

In my perhaps biased view, Berkshire has the best large insurance operation in the world. And I will absolutely state that we have the best managers. Our float has grown from $16 million in 1967, when we entered the business, to $62 billion at the end of 2009. Moreover, we have now operated at an underwriting profit for seven consecutive years. I believe it likely that we will continue to underwrite profitably in most – though certainly not all – future years. If we do so, our float will be cost-free, much as if someone deposited $62 billion with us that we could invest for our own benefit without the payment of interest.

Let me emphasize again that cost-free float is *not* a result to be expected for the P/C industry as a whole: In most years, premiums have been inadequate to cover claims plus expenses. Consequently, the industry's overall return on tangible equity has for many decades fallen far short of that achieved by the S&P 500. Outstanding economics exist at Berkshire only because we have some outstanding managers running some unusual businesses. Our insurance CEOs deserve your thanks, having added many billions of dollars to Berkshire's value. It's a pleasure for me to tell you about these all-stars.

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Let's start at GEICO, which is known to all of you because of its $800 million annual advertising budget (close to twice that of the runner-up advertiser in the auto insurance field). GEICO is managed by Tony Nicely, who joined the company at 18. Now 66, Tony still tap-dances to the office every day, just as I do at 79. We both feel lucky to work at a business we love.

GEICO's customers have warm feelings toward the company as well. Here's proof: Since Berkshire acquired control of GEICO in 1996, its market share has increased from 2.5% to 8.1%, a gain reflecting the net addition of seven million policyholders. Perhaps they contacted us because they thought our gecko was cute, but they bought from us to save important money. (Maybe you can as well; call 1-800-847-7536 or go to www.GEICO.com.) And they've stayed with us because they like our service as well as our price.

Berkshire acquired GEICO in two stages. In 1976-80 we bought about one-third of the company's stock for $47 million. Over the years, large repurchases by the company of its own shares caused our position to grow to about 50% without our having bought any more shares. Then, on January 2, 1996, we acquired the remaining 50% of GEICO for $2.3 *billion* in cash, about 50 times the cost of our original purchase.

An old Wall Street joke gets close to our experience:

Customer: Thanks for putting me in XYZ stock at 5. I hear it's up to 18.

Broker: Yes, and that's just the beginning. In fact, the company is doing so well now, that it's an even better buy at 18 than it was when you made your purchase.

Customer: Damn, I knew I should have waited.

GEICO's growth may slow in 2010. U.S. vehicle registrations are actually down because of slumping auto sales. Moreover, high unemployment is causing a growing number of drivers to go uninsured. (That's illegal almost everywhere, but if you've lost your job and still want to drive . . .) Our "low-cost producer" status, however, is sure to give us significant gains in the future. In 1995, GEICO was the country's sixth largest auto insurer; now we are number three. The company's float has grown from $2.7 billion to $9.6 billion. Equally important, GEICO has operated at an underwriting profit in 13 of the 14 years Berkshire has owned it.

I became excited about GEICO in January 1951, when I first visited the company as a 20-year-old student. Thanks to Tony, I'm even more excited today.

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A hugely important event in Berkshire's history occurred on a Saturday in 1985. Ajit Jain came into our office in Omaha – and I immediately knew we had found a superstar. (He had been discovered by Mike Goldberg, now elevated to St. Mike.)

We immediately put Ajit in charge of National Indemnity's small and struggling reinsurance operation. Over the years, he has built this business into a one-of-a-kind giant in the insurance world.

Staffed today by only 30 people, Ajit's operation has set records for transaction size in several areas of insurance. Ajit writes billion-dollar limits – and then keeps every dime of the risk instead of laying it off with other insurers. Three years ago, he took over huge liabilities from Lloyds, allowing it to clean up its relationship with 27,972 participants ("names") who had written problem-ridden policies that at one point threatened the survival of this 322-year-old institution. The premium for that single contract was $7.1 billion. During 2009, he negotiated a life reinsurance contract that could produce $50 billion of premium for us over the next 50 or so years.

Ajit's business is just the opposite of GEICO's. At that company, we have millions of small policies that largely renew year after year. Ajit writes relatively few policies, and the mix changes significantly from year to year. Throughout the world, he is known as the man to call when something both very large and unusual needs to be insured.

If Charlie, I and Ajit are ever in a sinking boat – and you can only save one of us – swim to Ajit.

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Our third insurance powerhouse is General Re. Some years back this operation was troubled; now it is a gleaming jewel in our insurance crown.

Under the leadership of Tad Montross, General Re had an outstanding underwriting year in 2009, while also delivering us unusually large amounts of float per dollar of premium volume. Alongside General Re's P/C business, Tad and his associates have developed a major life reinsurance operation that has grown increasingly valuable.

Last year General Re finally attained 100% ownership of Cologne Re, which since 1995 has been a key – though only partially-owned – part of our presence around the world. Tad and I will be visiting Cologne in September to thank its managers for their important contribution to Berkshire.

Finally, we own a group of smaller companies, most of them specializing in odd corners of the insurance world. In aggregate, their results have consistently been profitable and, as the table below shows, the float they provide us is substantial. Charlie and I treasure these companies and their managers.

Here is the record of all four segments of our property-casualty and life insurance businesses:

	Underwriting Profit		*Yearend Float*	
			(in millions)	
Insurance Operations	*2009*	*2008*	*2009*	*2008*
General Re	$ 477	$ 342	$21,014	$21,074
BH Reinsurance	349	1,324	26,223	24,221
GEICO	649	916	9,613	8,454
Other Primary	84	210	5,061	4,739
	$1,559	$2,792	$61,911	$58,488

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And now a painful **c**onfession: Last year your chairman closed the book on a very expensive business fiasco entirely of his own making.

For many years I had struggled to think of side products that we could offer our millions of loyal GEICO customers. Unfortunately, I finally succeeded, coming up with a brilliant insight that we should market our own credit card. I reasoned that GEICO policyholders were likely to be good credit risks and, assuming we offered an attractive card, would likely favor us with their business. We got business all right – but of the wrong type.

Our pre-tax losses from credit-card operations came to about $6.3 million before I finally woke up. We then sold our $98 million portfolio of troubled receivables for 55¢ on the dollar, losing an additional $44 million.

GEICO's managers, it should be emphasized, were never enthusiastic about my idea. They warned me that instead of getting the cream of GEICO's customers we would get the – – – – – well, let's call it the non-cream. I subtly indicated that I was older and wiser.

I was just older.

Regulated Utility Business

Berkshire has an 89.5% interest in MidAmerican Energy Holdings, which owns a wide variety of utility operations. The largest of these are (1) Yorkshire Electricity and Northern Electric, whose 3.8 million end users make it the U.K.'s third largest distributor of electricity; (2) MidAmerican Energy, which serves 725,000 electric customers, primarily in Iowa; (3) Pacific Power and Rocky Mountain Power, serving about 1.7 million electric customers in six western states; and (4) Kern River and Northern Natural pipelines, which carry about 8% of the natural gas consumed in the U.S.

MidAmerican has two terrific managers, Dave Sokol and Greg Abel. In addition, my long-time friend, Walter Scott, along with his family, has a major ownership position in the company. Walter brings extraordinary business savvy to *any* operation. Ten years of working with Dave, Greg and Walter have reinforced my original belief: Berkshire couldn't have better partners. They are truly a dream team.

Somewhat incongruously, MidAmerican also owns the second largest real estate brokerage firm in the U.S., HomeServices of America. This company operates through 21 locally-branded firms that have 16,000 agents. Though last year was again a terrible year for home sales, HomeServices earned a modest sum. It also acquired a firm in Chicago and will add other quality brokerage operations when they are available at sensible prices. A decade from now, HomeServices is likely to be much larger.

Here are some key figures on MidAmerican's operations:

	Earnings (in millions)	
	2009	*2008*
U.K. utilities	$ 248	$ 339
Iowa utility	285	425
Western utilities	788	703
Pipelines	457	595
HomeServices	43	(45)
Other (net)	25	186
Operating earnings before corporate interest and taxes	1,846	2,203
Constellation Energy *	—	1,092
Interest, other than to Berkshire	(318)	(332)
Interest on Berkshire junior debt	(58)	(111)
Income tax	(313)	(1,002)
Net earnings	$ 1,157	$ 1,850
Earnings applicable to Berkshire **	$ 1,071	$ 1,704
Debt owed to others	19,579	19,145
Debt owed to Berkshire	353	1,087

*Consists of a breakup fee of $175 million and a profit on our investment of $917 million.
**Includes interest earned by Berkshire (net of related income taxes) of $38 in 2009 and $72 in 2008.

Our regulated electric utilities, offering monopoly service in most cases, operate in a symbiotic manner with the customers in their service areas, with those users depending on us to provide first-class service and invest for their future needs. Permitting and construction periods for generation and major transmission facilities stretch way out, so it is incumbent on us to be far-sighted. We, in turn, look to our utilities' regulators (acting on behalf of our customers) to allow us an appropriate return on the huge amounts of capital we must deploy to meet future needs. We shouldn't expect our regulators to live up to their end of the bargain unless we live up to ours.

Dave and Greg make sure we do just that. National research companies consistently rank our Iowa and Western utilities at or near the top of their industry. Similarly, among the 43 U.S. pipelines ranked by a firm named Mastio, our Kern River and Northern Natural properties tied for second place.

Moreover, we continue to pour huge sums of money into our operations so as to not only prepare for the future but also make these operations more environmentally friendly. Since we purchased MidAmerican ten years ago, it has *never* paid a dividend. We have instead used earnings to improve and expand our properties in each of the territories we serve. As one dramatic example, in the last three years our Iowa and Western utilities have earned $2.5 billion, while in this same period spending $3 billion on wind generation facilities.

MidAmerican has consistently kept its end of the bargain with society and, to society's credit, it has reciprocated: With few exceptions, our regulators have promptly allowed us to earn a fair return on the ever-increasing sums of capital we must invest. Going forward, we will do whatever it takes to serve our territories in the manner they expect. We believe that, in turn, we will be allowed the return we deserve on the funds we invest.

In earlier days, Charlie and I shunned capital-intensive businesses such as public utilities. Indeed, the best businesses by far for owners continue to be those that have high returns on capital and that require little incremental investment to grow. We are fortunate to own a number of such businesses, and we would love to buy more. Anticipating, however, that Berkshire will generate ever-increasing amounts of cash, we are today quite willing to enter businesses that regularly require large capital expenditures. We expect only that these businesses have reasonable expectations of earning decent returns on the incremental sums they invest. If our expectations are met – and we believe that they will be – Berkshire's ever-growing collection of good to great businesses should produce above-average, though certainly not spectacular, returns in the decades ahead.

Our BNSF operation, it should be noted, has certain important economic characteristics that resemble those of our electric utilities. In both cases we provide fundamental services that are, and will remain, essential to the economic well-being of our customers, the communities we serve, and indeed the nation. Both will require heavy investment that greatly exceeds depreciation allowances for decades to come. Both must also plan far ahead to satisfy demand that is expected to outstrip the needs of the past. Finally, both require wise regulators who will provide certainty about allowable returns so that we can confidently make the huge investments required to maintain, replace and expand the plant.

We see a "social compact" existing between the public and our railroad business, just as is the case with our utilities. If either side shirks its obligations, both sides will inevitably suffer. Therefore, both parties to the compact should – and we believe will – understand the benefit of behaving in a way that encourages good behavior by the other. It is inconceivable that our country will realize anything close to its full economic potential without its possessing first-class electricity and railroad systems. We will do our part to see that they exist.

In the future, BNSF results will be included in this "regulated utility" section. Aside from the two businesses having similar underlying economic characteristics, both are logical users of substantial amounts of debt that is *not* guaranteed by Berkshire. Both will retain most of their earnings. Both will earn and invest large sums in good times or bad, though the railroad will display the greater cyclicality. Overall, we expect this regulated sector to deliver significantly increased earnings over time, albeit at the cost of our investing many tens – yes, tens – of billions of dollars of incremental equity capital.

Manufacturing, Service and Retailing Operations

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/09 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 3,018	Notes payable	$ 1,842
Accounts and notes receivable	5,066	Other current liabilities	7,414
Inventory	6,147	Total current liabilities	9,256
Other current assets	625		
Total current assets	14,856		
Goodwill and other intangibles	16,499	Deferred taxes	2,834
Fixed assets	15,374	Term debt and other liabilities	6,240
Other assets	2,070	Equity	30,469
	$48,799		$48,799

Earnings Statement (in millions)

	2009	*2008*	*2007*
Revenues	$61,665	$66,099	$59,100
Operating expenses (including depreciation of $1,422 in 2009, $1,280 in 2008 and $955 in 2007)	59,509	61,937	55,026
Interest expense	98	139	127
Pre-tax earnings	2,058*	4,023*	3,947*
Income taxes and minority interests	945	1,740	1,594
Net income	$ 1,113	$ 2,283	$ 2,353

*Does not include purchase-accounting adjustments.

Almost all of the many and widely-diverse operations in this sector suffered to one degree or another from 2009's severe recession. The major exception was McLane, our distributor of groceries, confections and non-food items to thousands of retail outlets, the largest by far Wal-Mart.

Grady Rosier led McLane to record pre-tax earnings of $344 million, which even so amounted to only slightly more than one cent per dollar on its huge sales of $31.2 billion. McLane employs a vast array of physical assets – practically all of which it owns – including 3,242 trailers, 2,309 tractors and 55 distribution centers with 15.2 million square feet of space. McLane's prime asset, however, is Grady.

We had a number of companies at which profits improved even as sales contracted, always an exceptional managerial achievement. Here are the CEOs who made it happen:

COMPANY	*CEO*
Benjamin Moore (paint)	Denis Abrams
Borsheims (jewelry retailing)	Susan Jacques
H. H. Brown (manufacturing and retailing of shoes)	Jim Issler
CTB (agricultural equipment)	Vic Mancinelli
Dairy Queen	John Gainor
Nebraska Furniture Mart (furniture retailing)	Ron and Irv Blumkin
Pampered Chef (direct sales of kitchen tools)	Marla Gottschalk
See's (manufacturing and retailing of candy)	Brad Kinstler
Star Furniture (furniture retailing)	Bill Kimbrell

Among the businesses we own that have major exposure to the depressed industrial sector, both Marmon and Iscar turned in relatively strong performances. Frank Ptak's Marmon delivered a 13.5% pre-tax profit margin, a record high. Though the company's sales were down 27%, Frank's cost-conscious management mitigated the decline in earnings.

Nothing stops Israel-based Iscar – not wars, recessions or competitors. The world's two other leading suppliers of small cutting tools both had very difficult years, each operating at a loss throughout much of the year. Though Iscar's results were down significantly from 2008, the company regularly reported profits, even while it was integrating and rationalizing Tungaloy, the large Japanese acquisition that we told you about last year. When manufacturing rebounds, Iscar will set new records. Its incredible managerial team of Eitan Wertheimer, Jacob Harpaz and Danny Goldman will see to that.

Every business we own that is connected to residential and commercial construction suffered severely in 2009. Combined pre-tax earnings of Shaw, Johns Manville, Acme Brick, and MiTek were $227 million, an 82.5% decline from $1.295 billion in 2006, when construction activity was booming. These businesses continue to bump along the bottom, though their competitive positions remain undented.

The major problem for Berkshire last year was NetJets, an aviation operation that offers fractional ownership of jets. Over the years, it has been enormously successful in establishing itself as the premier company in its industry, with the value of its fleet far exceeding that of its three major competitors *combined*. Overall, our dominance in the field remains unchallenged.

NetJets' business operation, however, has been another story. In the eleven years that we have owned the company, it has recorded an aggregate pre-tax loss of $157 million. Moreover, the company's debt has soared from $102 million at the time of purchase to $1.9 billion in April of last year. Without Berkshire's guarantee of this debt, NetJets would have been out of business. It's clear that I failed you in letting NetJets descend into this condition. But, luckily, I have been bailed out.

Dave Sokol, the enormously talented builder and operator of MidAmerican Energy, became CEO of NetJets in August. His leadership has been transforming: Debt has already been reduced to $1.4 billion, and, after suffering a staggering loss of $711 million in 2009, the company is now solidly profitable.

Most important, none of the changes wrought by Dave have in any way undercut the top-of-the-line standards for safety and service that Rich Santulli, NetJets' previous CEO and the father of the fractional-ownership industry, insisted upon. Dave and I have the strongest possible personal interest in maintaining these standards because we and our families use NetJets for almost all of our flying, as do many of our directors and managers. None of us are assigned special planes nor crews. We receive exactly the same treatment as any other owner, meaning we pay the same prices as everyone else does when we are using our personal contracts. In short, we eat our own cooking. In the aviation business, no other testimonial means more.

Finance and Financial Products

Our largest operation in this sector is Clayton Homes, the country's leading producer of modular and manufactured homes. Clayton was not always number one: A decade ago the three leading manufacturers were Fleetwood, Champion and Oakwood, which together accounted for 44% of the output of the industry. All have since gone bankrupt. Total industry output, meanwhile, has fallen from 382,000 units in 1999 to 60,000 units in 2009.

The industry is in shambles for two reasons, the first of which must be lived with if the U.S. economy is to recover. This reason concerns U.S. housing starts (including apartment units). In 2009, starts were 554,000, by far the lowest number in the 50 years for which we have data. Paradoxically, this is *good* news.

People *thought* it was good news a few years back when housing starts – the supply side of the picture – were running about two million annually. But household formations – the demand side – only amounted to about 1.2 million. After a few years of such imbalances, the country unsurprisingly ended up with far too many houses.

There were three ways to cure this overhang: (1) blow up a lot of houses, a tactic similar to the destruction of autos that occurred with the "cash-for-clunkers" program; (2) speed up household formations by, say, encouraging teenagers to cohabitate, a program not likely to suffer from a lack of volunteers or; (3) reduce new housing starts to a number far below the rate of household formations.

Our country has wisely selected the third option, which means that within a year or so residential housing problems should largely be behind us, the exceptions being only high-value houses and those in certain localities where overbuilding was particularly egregious. Prices will remain far below "bubble" levels, of course, but for every seller (or lender) hurt by this there will be a buyer who benefits. Indeed, many families that couldn't afford to buy an appropriate home a few years ago now find it well within their means because the bubble burst.

The second reason that manufactured housing is troubled is specific to the industry: the punitive differential in mortgage rates between factory-built homes and site-built homes. Before you read further, let me underscore the obvious: Berkshire has a dog in this fight, and you should therefore assess the commentary that follows with special care. That warning made, however, let me explain why the rate differential causes problems for both large numbers of lower-income Americans and Clayton.

The residential mortgage market is shaped by government rules that are expressed by FHA, Freddie Mac and Fannie Mae. Their lending standards are all-powerful because the mortgages they insure can typically be securitized and turned into what, in effect, is an obligation of the U.S. government. Currently buyers of conventional site-built homes who qualify for these guarantees can obtain a 30-year loan at about 5¼%. In addition, these are mortgages that have recently been purchased in massive amounts by the Federal Reserve, an action that also helped to keep rates at bargain-basement levels.

In contrast, very few factory-built homes qualify for agency-insured mortgages. Therefore, a meritorious buyer of a factory-built home must pay about 9% on his loan. For the all-cash buyer, Clayton's homes offer terrific value. If the buyer needs mortgage financing, however – and, of course, most buyers do – the difference in financing costs too often negates the attractive price of a factory-built home.

Last year I told you why our buyers – generally people with low incomes – performed so well as credit risks. Their attitude was all-important: They signed up to live in the home, not resell or refinance it. Consequently, our buyers usually took out loans with payments geared to their verified incomes (we weren't making "liar's loans") and looked forward to the day they could burn their mortgage. If they lost their jobs, had health problems or got divorced, we could of course expect defaults. But they seldom walked away simply because house values had fallen. Even today, though job-loss troubles have grown, Clayton's delinquencies and defaults remain reasonable and will not cause us significant problems.

We have tried to qualify more of our customers' loans for treatment similar to those available on the site-built product. So far we have had only token success. Many families with modest incomes but responsible habits have therefore had to forego home ownership simply because the financing differential attached to the factory-built product makes monthly payments too expensive. If qualifications aren't broadened, so as to open low-cost financing to *all* who meet down-payment and income standards, the manufactured-home industry seems destined to struggle and dwindle.

Even under these conditions, I believe Clayton will operate profitably in coming years, though well below its potential. We couldn't have a better manager than CEO Kevin Clayton, who treats Berkshire's interests as if they were his own. Our product is first-class, inexpensive and constantly being improved. Moreover, we will continue to use Berkshire's credit to support Clayton's mortgage program, convinced as we are of its soundness. Even so, Berkshire can't borrow at a rate approaching that available to government agencies. This handicap will limit sales, hurting both Clayton and a multitude of worthy families who long for a low-cost home.

In the following table, Clayton's earnings are net of the company's payment to Berkshire for the use of its credit. Offsetting this cost to Clayton is an identical amount of income credited to Berkshire's finance operation and included in "Other Income." The cost and income amount was $116 million in 2009 and $92 million in 2008.

The table also illustrates how severely our furniture (CORT) and trailer (XTRA) leasing operations have been hit by the recession. Though their competitive positions remain as strong as ever, we have yet to see any bounce in these businesses.

	Pre-Tax Earnings *(in millions)*	
	2009	*2008*
Net investment income	$278	$330
Life and annuity operation	116	23
Leasing operations	14	87
Manufactured-housing finance (Clayton)	187	206
Other income *	186	141
Income before investment and derivatives gains or losses	$781	$787

*Includes $116 million in 2009 and $92 million in 2008 of fees that Berkshire charges Clayton for the use of Berkshire's credit.

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At the end of 2009, we became a 50% owner of Berkadia Commercial Mortgage (formerly known as Capmark), the country's third-largest servicer of commercial mortgages. In addition to servicing a $235 billion portfolio, the company is an important originator of mortgages, having 25 offices spread around the country. Though commercial real estate will face major problems in the next few years, long-term opportunities for Berkadia are significant.

Our partner in this operation is Leucadia, run by Joe Steinberg and Ian Cumming, with whom we had a terrific experience some years back when Berkshire joined with them to purchase Finova, a troubled finance business. In resolving that situation, Joe and Ian did far more than their share of the work, an arrangement I always encourage. Naturally, I was delighted when they called me to partner again in the Capmark purchase.

Our first venture was also christened Berkadia. So let's call this one Son of Berkadia. Someday I'll be writing you about Grandson of Berkadia.

Investments

Below we show our common stock investments that at yearend had a market value of more than $1 billion.

			12/31/09	
Shares	*Company*	*Percentage of Company Owned*	*Cost **	*Market*
			(in millions)	
151,610,700	American Express Company	12.7	$ 1,287	$ 6,143
225,000,000	BYD Company, Ltd.	9.9	232	1,986
200,000,000	The Coca-Cola Company	8.6	1,299	11,400
37,711,330	ConocoPhillips	2.5	2,741	1,926
28,530,467	Johnson & Johnson	1.0	1,724	1,838
130,272,500	Kraft Foods Inc.	8.8	4,330	3,541
3,947,554	POSCO	5.2	768	2,092
83,128,411	The Procter & Gamble Company	2.9	533	5,040
25,108,967	Sanofi-Aventis	1.9	2,027	1,979
234,247,373	Tesco plc	3.0	1,367	1,620
76,633,426	U.S. Bancorp	4.0	2,371	1,725
39,037,142	Wal-Mart Stores, Inc.	1.0	1,893	2,087
334,235,585	Wells Fargo & Company	6.5	7,394	9,021
	Others		6,680	8,636
	Total Common Stocks Carried at Market		$34,646	$59,034

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required.

In addition, we own positions in non-traded securities of Dow Chemical, General Electric, Goldman Sachs, Swiss Re and Wrigley with an aggregate cost of $21.1 billion and a carrying value of $26.0 billion. We purchased these five positions in the last 18 months. Setting aside the significant equity potential they provide us, these holdings deliver us an aggregate of $2.1 billion annually in dividends and interest. Finally, we owned 76,777,029 shares (22.5%) of BNSF at yearend, which we then carried at $85.78 per share, but which have subsequently been melded into our purchase of the entire company.

In 2009, our largest sales were in ConocoPhillips, Moody's, Procter & Gamble and Johnson & Johnson (sales of the latter occurring after we had built our position earlier in the year). Charlie and I believe that all of these stocks will likely trade higher in the future. We made some sales early in 2009 to raise cash for our Dow and Swiss Re purchases and late in the year made other sales in anticipation of our BNSF purchase.

We told you last year that very unusual conditions then existed in the corporate and municipal bond markets and that these securities were ridiculously cheap relative to U.S. Treasuries. We backed this view with some purchases, but I should have done far more. Big opportunities come infrequently. When it's raining gold, reach for a bucket, not a thimble.

We entered 2008 with $44.3 billion of cash-equivalents, and we have since retained operating earnings of $17 billion. Nevertheless, at yearend 2009, our cash was down to $30.6 billion (with $8 billion earmarked for the BNSF acquisition). We've put a lot of money to work during the chaos of the last two years. It's been an ideal period for investors: A climate of fear is their best friend. Those who invest only when commentators are upbeat end up paying a heavy price for meaningless reassurance. In the end, what counts in investing is what you pay for a business – through the purchase of a small piece of it in the stock market – and what that business earns in the succeeding decade or two.

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Last year I wrote extensively about our derivatives contracts, which were then the subject of both controversy and misunderstanding. For that discussion, please go to www.berkshirehathaway.com.

We have since changed only a few of our positions. Some credit contracts have run off. The terms of about 10% of our equity put contracts have also changed: Maturities have been shortened and strike prices materially reduced. In these modifications, no money changed hands.

A few points from last year's discussion are worth repeating:

(1) Though it's no sure thing, I expect our contracts in aggregate to deliver us a profit over their lifetime, even when investment income on the huge amount of float they provide us is excluded in the calculation. Our derivatives float – which is not included in the $62 billion of insurance float I described earlier – was about $6.3 billion at yearend.

(2) Only a handful of our contracts require us to post collateral under any circumstances. At last year's low point in the stock and credit markets, our posting requirement was $1.7 billion, a small fraction of the derivatives-related float we held. When we do post collateral, let me add, the securities we put up continue to earn money for our account.

(3) Finally, you should expect large swings in the carrying value of these contracts, items that can affect our reported quarterly earnings in a huge way but that do not affect our cash or investment holdings. That thought certainly fit 2009's circumstances. Here are the pre-tax quarterly gains and losses from derivatives valuations that were part of our reported earnings last year:

Quarter	$ Gain (Loss) in Billions
1	(1.517)
2	2.357
3	1.732
4	1.052

As we've explained, these wild swings neither cheer nor bother Charlie and me. When we report to you, we will continue to separate out these figures (as we do realized investment gains and losses) so that you can more clearly view the earnings of our operating businesses. We are delighted that we hold the derivatives contracts that we do. To date we have significantly profited from the float they provide. We expect also to earn further investment income over the life of our contracts.

We have long invested in derivatives contracts that Charlie and I think are mispriced, just as we try to invest in mispriced stocks and bonds. Indeed, we first reported to you that we held such contracts in early 1998. The dangers that derivatives pose for both participants and society – dangers of which we've long warned, and that can be dynamite – arise when these contracts lead to leverage and/or counterparty risk that is extreme. At Berkshire nothing like that has occurred – nor will it.

It's my job to keep Berkshire far away from such problems. Charlie and I believe that a CEO must not delegate risk control. It's simply too important. At Berkshire, I both initiate and monitor *every* derivatives contract on our books, with the exception of operations-related contracts at a few of our subsidiaries, such as MidAmerican, and the minor runoff contracts at General Re. If Berkshire ever gets in trouble, it will be *my* fault. It will not be because of misjudgments made by a Risk Committee or Chief Risk Officer.

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In my view a board of directors of a huge financial institution is *derelict* if it does not insist that its CEO bear full responsibility for risk control. If he's incapable of handling that job, he should look for other employment. And if he fails at it – with the government thereupon required to step in with funds or guarantees – the financial consequences for him and his board should be severe.

It has not been shareholders who have botched the operations of some of our country's largest financial institutions. Yet they have borne the burden, with 90% or more of the value of their holdings wiped out in most cases of failure. Collectively, they have lost more than $500 billion in just the four largest financial fiascos of the last two years. To say these *owners* have been "bailed-out" is to make a mockery of the term.

The CEOs and directors of the failed companies, however, have largely gone unscathed. Their fortunes may have been diminished by the disasters they oversaw, but they still live in grand style. It is the behavior of these CEOs and directors that needs to be changed: If their institutions and the country are harmed by their recklessness, they should pay a heavy price – one not reimbursable by the companies they've damaged nor by insurance. CEOs and, in many cases, directors have long benefitted from oversized financial carrots; some *meaningful* sticks now need to be part of their employment picture as well.

An Inconvenient Truth (Boardroom Overheating)

Our subsidiaries made a few small "bolt-on" acquisitions last year for cash, but our blockbuster deal with BNSF required us to issue about 95,000 Berkshire shares that amounted to 6.1% of those previously outstanding. Charlie and I enjoy issuing Berkshire stock about as much as we relish prepping for a colonoscopy.

The reason for our distaste is simple. If we wouldn't dream of selling Berkshire in its entirety at the current market price, why in the world should we "sell" a significant part of the company at that same inadequate price by issuing our stock in a merger?

In evaluating a stock-for-stock offer, shareholders of the target company quite understandably focus on the market price of the acquirer's shares that are to be given them. But they also expect the transaction to deliver them the *intrinsic* value of their own shares – the ones they are giving up. If shares of a prospective acquirer are selling below their intrinsic value, it's impossible for that buyer to make a sensible deal in an all-stock deal. You simply can't exchange an undervalued stock for a fully-valued one without hurting your shareholders.

Imagine, if you will, Company A and Company B, of equal size and both with businesses intrinsically worth $100 per share. Both of their stocks, however, sell for $80 per share. The CEO of A, long on confidence and short on smarts, offers 1 ¼ shares of A for each share of B, correctly telling his directors that B is worth $100 per share. He will neglect to explain, though, that what he is giving will cost his shareholders $125 in intrinsic value. If the directors are mathematically challenged as well, and a deal is therefore completed, the shareholders of B will end up owning 55.6% of A & B's combined assets and A's shareholders will own 44.4%. Not everyone at A, it should be noted, is a loser from this nonsensical transaction. Its CEO now runs a company twice as large as his original domain, in a world where size tends to correlate with both prestige and compensation.

If an acquirer's stock is overvalued, it's a different story: Using it as a currency works to the acquirer's advantage. That's why bubbles in various areas of the stock market have invariably led to serial issuances of stock by sly promoters. Going by the market value of their stock, they can afford to overpay because they are, in effect, using counterfeit money. Periodically, many air-for-assets acquisitions have taken place, the late 1960s having been a particularly obscene period for such chicanery. Indeed, certain large companies were built in this way. (No one involved, of course, ever publicly acknowledges the reality of what is going on, though there is plenty of private snickering.)

In our BNSF acquisition, the selling shareholders quite properly evaluated our offer at $100 per share. The cost to us, however, was somewhat higher since 40% of the $100 was delivered in our shares, which Charlie and I believed to be worth more than their market value. Fortunately, we had long owned a substantial amount of BNSF stock that we purchased in the market for cash. All told, therefore, only about 30% of our cost overall was paid with Berkshire shares.

In the end, Charlie and I decided that the disadvantage of paying 30% of the price through stock was offset by the opportunity the acquisition gave us to deploy $22 billion of cash in a business we understood and liked for the long term. It has the additional virtue of being run by Matt Rose, whom we trust and admire. We also like the prospect of investing additional billions over the years at reasonable rates of return. But the final decision was a close one. If we had needed to use more stock to make the acquisition, it would in fact have made no sense. We would have then been giving up more than we were getting.

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I have been in dozens of board meetings in which acquisitions have been deliberated, often with the directors being instructed by high-priced investment bankers (are there any other kind?). Invariably, the bankers give the board a detailed assessment of the value of the company being purchased, with emphasis on why it is worth far more than its market price. In more than fifty years of board memberships, however, never have I heard the investment bankers (or management!) discuss the true value of what is being *given*. When a deal involved the issuance of the acquirer's stock, they simply used market value to measure the cost. *They did this even though they would have argued that the acquirer's stock price was woefully inadequate – absolutely no indicator of its real value – had a takeover bid for the acquirer instead been the subject up for discussion*.

When stock is the currency being contemplated in an acquisition and when directors are hearing from an advisor, it appears to me that there is only one way to get a rational and balanced discussion. Directors should hire a second advisor to make the case *against* the proposed acquisition, with its fee contingent on the deal *not* going through. Absent this drastic remedy, our recommendation in respect to the use of advisors remains: "Don't ask the barber whether you need a haircut."

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I can't resist telling you a true story from long ago. We owned stock in a large well-run bank that for decades had been statutorily prevented from acquisitions. Eventually, the law was changed and our bank immediately began looking for possible purchases. Its managers – fine people and able bankers – not unexpectedly began to behave like teenage boys who had just discovered girls.

They soon focused on a much smaller bank, also well-run and having similar financial characteristics in such areas as return on equity, interest margin, loan quality, etc. Our bank sold at a modest price (that's why we had bought into it), hovering near book value and possessing a very low price/earnings ratio. Alongside, though, the small-bank owner was being wooed by other large banks in the state and was holding out for a price close to three times book value. Moreover, he wanted stock, not cash.

Naturally, our fellows caved in and agreed to this value-destroying deal. "We need to show that we are in the hunt. Besides, it's only a small deal," they said, as if only *major* harm to shareholders would have been a legitimate reason for holding back. Charlie's reaction at the time: "Are we supposed to applaud because the dog that fouls our lawn is a Chihuahua rather than a Saint Bernard?"

The seller of the smaller bank – no fool – then delivered one final demand in his negotiations. "After the merger," he in effect said, perhaps using words that were phrased more diplomatically than these, "I'm going to be a large shareholder of your bank, and it will represent a huge portion of my net worth. You have to promise me, therefore, that you'll never again do a deal this dumb."

Yes, the merger went through. The owner of the small bank became richer, we became poorer, and the managers of the big bank – newly bigger – lived happily ever after.

The Annual Meeting

Our best guess is that 35,000 people attended the annual meeting last year (up from 12 – *no* zeros omitted – in 1981). With our shareholder population much expanded, we expect even more this year. Therefore, we will have to make a few changes in the usual routine. There will be no change, however, in our enthusiasm for having you attend. Charlie and I like to meet you, answer your questions and – best of all – have you *buy* lots of goods from our businesses.

The meeting this year will be held on Saturday, May 1st. As always, the doors will open at the Qwest Center at 7 a.m., and a new Berkshire movie will be shown at 8:30. At 9:30 we will go directly to the question-and-answer period, which (with a break for lunch at the Qwest's stands) will last until 3:30. After a short recess, Charlie and I will convene the annual meeting at 3:45. If you decide to leave during the day's question periods, please do so while *Charlie* is talking. (Act fast; he can be terse.)

The best reason to exit, of course, is to *shop*. We will help you do that by filling the 194,300-square-foot hall that adjoins the meeting area with products from dozens of Berkshire subsidiaries. Last year, you did your part, and most locations racked up record sales. But you can do better. (A friendly warning: If I find sales are lagging, I get testy and lock the exits.)

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a shareholder discount (usually 8%). This special offer is permitted by 44 of the 51 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another, such as that given certain groups.) Bring the details of your existing insurance and check out whether we can save you money. For at least 50% of you, I believe we can.

Be sure to visit the Bookworm. Among the more than 30 books and DVDs it will offer are two new books by my sons: Howard's *Fragile*, a volume filled with photos and commentary about lives of struggle around the globe and Peter's *Life Is What You Make It*. Completing the family trilogy will be the debut of my sister Doris's biography, a story focusing on her remarkable philanthropic activities. Also available will be *Poor Charlie's Almanack*, the story of my partner. This book is something of a publishing miracle – never advertised, yet year after year selling many thousands of copies from its Internet site. (Should you need to ship your book purchases, a nearby shipping service will be available.)

If you are a big spender – or, for that matter, merely a gawker – visit Elliott Aviation on the east side of the Omaha airport between noon and 5:00 p.m. on Saturday. There we will have a fleet of NetJets aircraft that will get your pulse racing.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. Carol Pedersen, who handles these matters, does a terrific job for us each year, and I thank her for it. Hotel rooms can be hard to find, but work with Carol and you will get one.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. To obtain the Berkshire discount, you must make your purchases between Thursday, April 29th and Monday, May 3rd inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m. to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m., NFM is having a Berkyville BBQ to which you are all invited.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 10 p.m. on Friday, April 30th. The second, the main gala, will be held on Sunday, May 2nd, from 9 a.m. to 4 p.m. On Saturday, we will be open until 6 p.m.

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 26th through Saturday, May 8th. During that period, please identify yourself as a shareholder by presenting your meeting credentials or a brokerage statement that shows you are a Berkshire holder. Enter with rhinestones; leave with diamonds. My daughter tells me that the more you buy, the more you save (kids say the darnedest things).

On Sunday, in the mall outside of Borsheims, a blindfolded Patrick Wolff, twice U.S. chess champion, will take on all comers – who will have their eyes wide open – in groups of six. Nearby, Norman Beck, a remarkable magician from Dallas, will bewilder onlookers.

Our special treat for shareholders this year will be the return of my friend, Ariel Hsing, the country's top-ranked junior table tennis player (and a good bet to win at the Olympics some day). Now 14, Ariel came to the annual meeting four years ago and demolished all comers, including me. (You can witness my humiliating defeat on YouTube; just type in Ariel Hsing Berkshire.)

Naturally, I've been plotting a comeback and will take her on outside of Borsheims at 1:00 p.m. on Sunday. It will be a three-point match, and after I soften her up, all shareholders are invited to try their luck at similar three-point contests. Winners will be given a box of See's candy. We will have equipment available, but bring your own paddle if you think it will help. (It won't.)

Gorat's will again be open exclusively for Berkshire shareholders on Sunday, May 2nd, and will be serving from 1 p.m. until 10 p.m. Last year, though, it was overwhelmed by demand. With many more diners expected this year, I've asked my friend, Donna Sheehan, at Piccolo's – another favorite restaurant of mine – to serve shareholders on Sunday as well. (Piccolo's giant root beer float is mandatory for any fan of fine dining.) I plan to eat at both restaurants: All of the weekend action makes me *really* hungry, and I have favorite dishes at each spot. Remember: To make a reservation at Gorat's, call 402-551-3733 on April 1st (*but not before*) and at Piccolo's call 402-342-9038.

Regrettably, we will not be able to have a reception for international visitors this year. Our count grew to about 800 last year, and my simply signing one item per person took about 2½ hours. Since we expect even more international visitors this year, Charlie and I decided we must drop this function. But be assured, we welcome every international visitor who comes.

Last year we changed our method of determining what questions would be asked at the meeting and received many dozens of letters applauding the new arrangement. We will therefore again have the same three financial journalists lead the question-and-answer period, asking Charlie and me questions that shareholders have submitted to them by e-mail.

The journalists and their e-mail addresses are: Carol Loomis, of Fortune, who may be e-mailed at cloomis@fortunemail.com; Becky Quick, of CNBC, at BerkshireQuestions@cnbc.com, and Andrew Ross Sorkin, of The New York Times, at arsorkin@nytimes.com. From the questions submitted, each journalist will choose the dozen or so he or she decides are the most interesting and important. The journalists have told me your question has the best chance of being selected if you keep it concise and include no more than two questions in any e-mail you send them. (In your e-mail, let the journalist know if you would like your name mentioned if your question is selected.)

Neither Charlie nor I will get so much as a clue about the questions to be asked. We know the journalists will pick some tough ones and that's the way we like it.

We will again have a drawing at 8:15 on Saturday at each of 13 microphones for those shareholders wishing to ask questions themselves. At the meeting, I will alternate the questions asked by the journalists with those from the winning shareholders. We've added 30 minutes to the question time and will probably have time for about 30 questions from each group.

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At 86 and 79, Charlie and I remain lucky beyond our dreams. We were born in America; had terrific parents who saw that we got good educations; have enjoyed wonderful families and great health; and came equipped with a "business" gene that allows us to prosper in a manner hugely disproportionate to that experienced by many people who contribute as much or more to our society's well-being. Moreover, we have long had jobs that we love, in which we are helped in countless ways by talented and cheerful associates. Indeed, over the years, our work has become ever more fascinating; no wonder we tap-dance to work. If pushed, we would gladly pay substantial sums to have our jobs (but don't tell the Comp Committee).

Nothing, however, is more fun for us than getting together with our shareholder-partners at Berkshire's annual meeting. So join us on May 1st at the Qwest for our annual Woodstock for Capitalists. We'll see you there.

February 26, 2010

Warren E. Buffett
Chairman of the Board

P.S. Come by rail.

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
2004	10.5	10.9	(.4)
2005	6.4	4.9	1.5
2006	18.4	15.8	2.6
2007	11.0	5.5	5.5
2008	(9.6)	(37.0)	27.4
2009	19.8	26.5	(6.7)
2010	13.0	15.1	(2.1)
Compounded Annual Gain – 1965-2010	20.2%	9.4%	10.8
Overall Gain – 1964-2010	490,409%	6,262%	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported.

The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

The per-share book value of both our Class A and Class B stock increased by 13% in 2010. Over the last 46 years (that is, since present management took over), book value has grown from $19 to $95,453, a rate of 20.2% compounded annually.*

The highlight of 2010 was our acquisition of Burlington Northern Santa Fe, a purchase that's working out even better than I expected. It now appears that owning this railroad will increase Berkshire's "normal" earning power by nearly 40% pre-tax and by well over 30% after-tax. Making this purchase increased our share count by 6% and used $22 billion of cash. Since we've quickly replenished the cash, the economics of this transaction have turned out very well.

A "normal year," of course, is not something that either Charlie Munger, Vice Chairman of Berkshire and my partner, or I can define with anything like precision. But for the purpose of estimating our current earning power, we are envisioning a year free of a mega-catastrophe in insurance and possessing a general business climate somewhat better than that of 2010 but weaker than that of 2005 or 2006. Using these assumptions, and several others that I will explain in the "Investment" section, I can estimate that the normal earning power of the assets we currently own is about $17 billion pre-tax and $12 billion after-tax, excluding any capital gains or losses. Every day Charlie and I think about how we can build on this base.

Both of us are enthusiastic about BNSF's future because railroads have major cost and environmental advantages over trucking, their main competitor. Last year BNSF moved each ton of freight it carried a record 500 miles on a single gallon of diesel fuel. That's *three* times more fuel-efficient than trucking is, which means our railroad owns an important advantage in operating costs. Concurrently, our country gains because of reduced greenhouse emissions and a much smaller need for imported oil. When traffic travels by rail, society benefits.

Over time, the movement of goods in the United States will increase, and BNSF should get its full share of the gain. The railroad will need to invest massively to bring about this growth, but no one is better situated than Berkshire to supply the funds required. However slow the economy, or chaotic the markets, our checks will clear.

Last year – in the face of widespread pessimism about our economy – we demonstrated our enthusiasm for capital investment at Berkshire by spending $6 billion on property and equipment. Of this amount, $5.4 billion – or 90% of the total – was spent in the United States. Certainly our businesses will expand abroad in the future, but an overwhelming part of their future investments will be at home. In 2011, we will set a new record for capital spending – $8 billion – and spend *all* of the $2 billion increase in the United States.

Money will always flow toward opportunity, and there is an abundance of that in America. Commentators today often talk of "great uncertainty." But think back, for example, to December 6, 1941, October 18, 1987 and September 10, 2001. No matter how serene today may be, tomorrow is *always* uncertain.

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* All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/1500th of those shown for A.

Don't let that reality spook you. Throughout my lifetime, politicians and pundits have constantly moaned about terrifying problems facing America. Yet our citizens now live an astonishing six times better than when I was born. The prophets of doom have overlooked the all-important factor that *is* certain: Human potential is far from exhausted, and the American system for unleashing that potential – a system that has worked wonders for over two centuries despite frequent interruptions for recessions and even a Civil War – remains alive and effective.

We are not natively smarter than we were when our country was founded nor do we work harder. But look around you and see a world beyond the dreams of any colonial citizen. Now, as in 1776, 1861, 1932 and 1941, America's best days lie ahead.

Performance

Charlie and I believe that those entrusted with handling the funds of others should establish performance goals at the onset of their stewardship. Lacking such standards, managements are tempted to shoot the arrow of performance and then paint the bull's-eye around wherever it lands.

In Berkshire's case, we long ago told you that our job is to increase per-share intrinsic value at a rate greater than the increase (including dividends) of the S&P 500. In some years we succeed; in others we fail. But, if we are unable over time to reach that goal, we have done nothing for our investors, who by themselves could have realized an equal or better result by owning an index fund.

The challenge, of course, is the calculation of intrinsic value. Present that task to Charlie and me separately, and you will get two different answers. Precision just isn't possible.

To eliminate subjectivity, we therefore use an *understated* proxy for intrinsic-value – book value – when measuring our performance. To be sure, some of our businesses are worth far more than their carrying value on our books. (Later in this report, we'll present a case study.) But since that premium seldom swings wildly from year to year, book value can serve as a reasonable device for tracking how we are doing.

The table on page 2 shows our 46-year record against the S&P, a performance quite good in the earlier years and now only satisfactory. The bountiful years, we want to emphasize, will never return. The huge sums of capital we currently manage eliminate *any* chance of exceptional performance. We will strive, however, for better-than-average results and feel it fair for you to hold us to that standard.

Yearly figures, it should be noted, are neither to be ignored nor viewed as all-important. The pace of the earth's movement around the sun is not synchronized with the time required for either investment ideas or operating decisions to bear fruit. At GEICO, for example, we enthusiastically spent $900 million last year on advertising to obtain policyholders who deliver us no immediate profits. If we could spend twice that amount productively, we would happily do so though short-term results would be further penalized. Many large investments at our railroad and utility operations are also made with an eye to payoffs well down the road.

To provide you a longer-term perspective on performance, we present on the facing page the yearly figures from page 2 recast into a series of five-year periods. Overall, there are 42 of these periods, and they tell an interesting story. On a comparative basis, our best years ended in the early 1980s. The *market's* golden period, however, came in the 17 following years, with Berkshire achieving stellar absolute returns even as our relative advantage narrowed.

After 1999, the market stalled (or have you already noticed that?). Consequently, the satisfactory performance relative to the S&P that Berkshire has achieved since then has delivered only moderate absolute results.

Looking forward, we hope to average several points better than the S&P – though that result is, of course, far from a sure thing. If we succeed in that aim, we will almost certainly produce better relative results in bad years for the stock market and suffer poorer results in strong markets.

Berkshire's Corporate Performance vs. the S&P 500 by Five-Year Periods

Five-Year Period	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965-1969	17.2	5.0	12.2
1966-1970	14.7	3.9	10.8
1967-1971	13.9	9.2	4.7
1968-1972	16.8	7.5	9.3
1969-1973	17.7	2.0	15.7
1970-1974	15.0	(2.4)	17.4
1971-1975	13.9	3.2	10.7
1972-1976	20.8	4.9	15.9
1973-1977	23.4	(0.2)	23.6
1974-1978	24.4	4.3	20.1
1975-1979	30.1	14.7	15.4
1976-1980	33.4	13.9	19.5
1977-1981	29.0	8.1	20.9
1978-1982	29.9	14.1	15.8
1979-1983	31.6	17.3	14.3
1980-1984	27.0	14.8	12.2
1981-1985	32.6	14.6	18.0
1982-1986	31.5	19.8	11.7
1983-1987	27.4	16.4	11.0
1984-1988	25.0	15.2	9.8
1985-1989	31.1	20.3	10.8
1986-1990	22.9	13.1	9.8
1987-1991	25.4	15.3	10.1
1988-1992	25.6	15.8	9.8
1989-1993	24.4	14.5	9.9
1990-1994	18.6	8.7	9.9
1991-1995	25.6	16.5	9.1
1992-1996	24.2	15.2	9.0
1993-1997	26.9	20.2	6.7
1994-1998	33.7	24.0	9.7
1995-1999	30.4	28.5	1.9
1996-2000	22.9	18.3	4.6
1997-2001	14.8	10.7	4.1
1998-2002	10.4	(0.6)	11.0
1999-2003	6.0	(0.6)	6.6
2000-2004	8.0	(2.3)	10.3
2001-2005	8.0	0.6	7.4
2002-2006	13.1	6.2	6.9
2003-2007	13.3	12.8	0.5
2004-2008	6.9	(2.2)	9.1
2005-2009	8.6	0.4	8.2
2006-2010	10.0	2.3	7.7

Notes: The first two periods cover the five years beginning September 30 of the previous year. The third period covers 63 months beginning September 30, 1966 to December 31, 1971. All other periods involve calendar years.

The other notes on page 2 also apply to this table.

Intrinsic Value – Today and Tomorrow

Though Berkshire's intrinsic value cannot be precisely calculated, two of its three key pillars can be measured. Charlie and I rely heavily on these measurements when we make our own estimates of Berkshire's value.

The first component of value is our investments: stocks, bonds and cash equivalents. At yearend these totaled $158 billion at market value.

Insurance float – money we temporarily hold in our insurance operations that does not belong to us – funds $66 billion of our investments. This float is "free" as long as insurance underwriting breaks even, meaning that the premiums we receive equal the losses and expenses we incur. Of course, underwriting results are volatile, swinging erratically between profits and losses. Over our entire history, though, we've been significantly profitable, and I also expect us to average breakeven results or better in the future. If we do that, all of our investments – those funded both by float and by retained earnings – can be viewed as an element of value for Berkshire shareholders.

Berkshire's second component of value is earnings that come from sources other than investments and insurance underwriting. These earnings are delivered by our 68 non-insurance companies, itemized on page 106. In Berkshire's early years, we focused on the investment side. During the past two decades, however, we've increasingly emphasized the development of earnings from non-insurance businesses, a practice that will continue.

The following tables illustrate this shift. In the first table, we present per-share investments at decade intervals beginning in 1970, three years after we entered the insurance business. We exclude those investments applicable to minority interests.

Yearend	*Per-Share Investments*	*Period*	*Compounded Annual Increase in Per-Share Investments*
1970	$ 66		
1980	754	1970-1980	27.5%
1990	7,798	1980-1990	26.3%
2000	50,229	1990-2000	20.5%
2010	94,730	2000-2010	6.6%

Though our compounded annual increase in per-share investments was a healthy 19.9% over the 40-year period, our rate of increase has slowed sharply as we have focused on using funds to buy operating businesses.

The payoff from this shift is shown in the following table, which illustrates how earnings of our non-insurance businesses have increased, again on a per-share basis and after applicable minority interests.

Year	*Per-Share Pre-Tax Earnings*	*Period*	*Compounded Annual Increase in Per-Share Pre-Tax Earnings*
1970	$ 2.87		
1980	19.01	1970-1980	20.8%
1990	102.58	1980-1990	18.4%
2000	918.66	1990-2000	24.5%
2010	5,926.04	2000-2010	20.5%

For the forty years, our compounded annual gain in pre-tax, non-insurance earnings per share is 21.0%. During the same period, Berkshire's stock price increased at a rate of 22.1% annually. Over time, you can expect our stock price to move in rough tandem with Berkshire's investments and earnings. Market price and intrinsic value often follow very different paths – sometimes for extended periods – but eventually they meet.

There is a third, more subjective, element to an intrinsic value calculation that can be either positive or negative: the efficacy with which retained earnings will be deployed in the future. We, as well as many other businesses, are likely to retain earnings over the next decade that will equal, or even exceed, the capital we presently employ. Some companies will turn these retained dollars into fifty-cent pieces, others into two-dollar bills.

This "what-will-they-do-with-the-money" factor must always be evaluated along with the "what-do-we-have-now" calculation in order for us, or anybody, to arrive at a sensible estimate of a company's intrinsic value. That's because an outside investor stands by helplessly as management reinvests his share of the company's earnings. If a CEO can be expected to do this job well, the reinvestment prospects add to the company's current value; if the CEO's talents or motives are suspect, today's value must be discounted. The difference in outcome can be huge. A dollar of then-value in the hands of Sears Roebuck's or Montgomery Ward's CEOs in the late 1960s had a far different destiny than did a dollar entrusted to Sam Walton.

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Charlie and I hope that the per-share earnings of our non-insurance businesses continue to increase at a decent rate. But the job gets tougher as the numbers get larger. We will need both good performance from our current businesses and more *major* acquisitions. We're prepared. Our elephant gun has been reloaded, and my trigger finger is itchy.

Partially offsetting our anchor of size are several important advantages we have. First, we possess a cadre of truly skilled managers who have an unusual commitment to their own operations and to Berkshire. Many of our CEOs are independently wealthy and work only because they love what they do. They are volunteers, not mercenaries. Because no one can offer them a job they would enjoy more, they can't be lured away.

At Berkshire, managers can focus on running their businesses: They are not subjected to meetings at headquarters nor financing worries nor Wall Street harassment. They simply get a letter from me every two years (it's reproduced on pages 104-105) and call me when they wish. And their wishes do differ: There are managers to whom I have not talked in the last year, while there is one with whom I talk almost daily. Our trust is in people rather than process. A "hire well, manage little" code suits both them and me.

Berkshire's CEOs come in many forms. Some have MBAs; others never finished college. Some use budgets and are by-the-book types; others operate by the seat of their pants. Our team resembles a baseball squad composed of all-stars having vastly different batting styles. Changes in our line-up are seldom required.

Our second advantage relates to the allocation of the money our businesses earn. After meeting the needs of those businesses, we have very substantial sums left over. Most companies limit themselves to reinvesting funds within the industry in which they have been operating. That often restricts them, however, to a "universe" for capital allocation that is both tiny and quite inferior to what is available in the wider world. Competition for the few opportunities that *are* available tends to become fierce. The seller has the upper hand, as a girl might if she were the only female at a party attended by many boys. That lopsided situation would be great for the girl, but terrible for the boys.

At Berkshire we face no institutional restraints when we deploy capital. Charlie and I are limited only by our ability to understand the likely future of a possible acquisition. If we clear that hurdle – and frequently we can't – we are then able to compare any one opportunity against a host of others.

When I took control of Berkshire in 1965, I didn't exploit this advantage. Berkshire was then only in textiles, where it had in the previous decade lost significant money. The dumbest thing I could have done was to pursue "opportunities" to improve and expand the existing textile operation – so for years that's exactly what I did. And then, in a final burst of brilliance, I went out and bought *another* textile company. Aaaaaaargh! Eventually I came to my senses, heading first into insurance and then into other industries.

There is even a supplement to this world-is-our-oyster advantage: In addition to evaluating the attractions of one business against a host of others, we also measure businesses against opportunities available in marketable securities, a comparison most managements don't make. Often, businesses are priced ridiculously high against what can likely be earned from investments in stocks or bonds. At such moments, we buy securities and bide our time.

Our flexibility in respect to capital allocation has accounted for much of our progress to date. We have been able to take money we earn from, say, See's Candies or Business Wire (two of our best-run businesses, but also two offering limited reinvestment opportunities) and use it as part of the stake we needed to buy BNSF.

Our final advantage is the hard-to-duplicate culture that permeates Berkshire. And in businesses, culture counts.

To start with, the directors who represent you think and act like owners. They receive token compensation: no options, no restricted stock and, for that matter, virtually no cash. We do not provide them directors and officers liability insurance, a given at almost every other large public company. If they mess up with your money, they will lose their money as well. Leaving my holdings aside, directors and their families own Berkshire shares worth more than $3 billion. Our directors, therefore, monitor Berkshire's actions and results with keen interest and an owner's eye. You and I are lucky to have them as stewards.

This same owner-orientation prevails among our managers. In many cases, these are people who have sought out Berkshire as an acquirer for a business that they and their families have long owned. They came to us with an owner's mindset, and we provide an environment that encourages them to retain it. Having managers who love their businesses is no small advantage.

Cultures self-propagate. Winston Churchill once said, "You shape your houses and then they shape you." That wisdom applies to businesses as well. Bureaucratic procedures beget more bureaucracy, and imperial corporate palaces induce imperious behavior. (As one wag put it, "You know you're no longer CEO when you get in the back seat of your car and it doesn't move.") At Berkshire's "World Headquarters" our annual rent is $270,212. Moreover, the home-office investment in furniture, art, Coke dispenser, lunch room, high-tech equipment – you name it – totals $301,363. As long as Charlie and I treat your money as if it were our own, Berkshire's managers are likely to be careful with it as well.

Our compensation programs, our annual meeting and even our annual reports are all designed with an eye to reinforcing the Berkshire culture, and making it one that will repel and expel managers of a different bent. This culture grows stronger every year, and it will remain intact long after Charlie and I have left the scene.

We will need all of the strengths I've just described to do reasonably well. Our managers will deliver; you can count on that. But whether Charlie and I can hold up our end in capital allocation depends in part on the competitive environment for acquisitions. You will get our best efforts.

GEICO

Now let me tell you a story that will help you understand how the intrinsic value of a business can far exceed its book value. Relating this tale also gives me a chance to relive some great memories.

Sixty years ago last month, GEICO entered my life, destined to shape it in a huge way. I was then a 20-year-old graduate student at Columbia, having elected to go there because my hero, Ben Graham, taught a once-a-week class at the school.

One day at the library, I checked out Ben's entry in Who's Who in America and found he was chairman of Government Employees Insurance Co. (now called GEICO). I knew nothing of insurance and had never heard of the company. The librarian, however, steered me to a large compendium of insurers and, after reading the page on GEICO, I decided to visit the company. The following Saturday, I boarded an early train for Washington.

Alas, when I arrived at the company's headquarters, the building was closed. I then rather frantically started pounding on a door, until finally a janitor appeared. I asked him if there was anyone in the office I could talk to, and he steered me to the only person around, Lorimer Davidson.

That was my lucky moment. During the next four hours, "Davy" gave me an education about both insurance and GEICO. It was the beginning of a wonderful friendship. Soon thereafter, I graduated from Columbia and became a stock salesman in Omaha. GEICO, of course, was my prime recommendation, which got me off to a great start with dozens of customers. GEICO also jump-started my net worth because, soon after meeting Davy, I made the stock 75% of my $9,800 investment portfolio. (Even so, I felt *over*-diversified.)

Subsequently, Davy became CEO of GEICO, taking the company to undreamed-of heights before it got into trouble in the mid-1970s, a few years after his retirement. When that happened – with the stock falling by more than 95% – Berkshire bought about one-third of the company in the market, a position that over the years increased to 50% because of GEICO's repurchases of its own shares. Berkshire's cost for this half of the business was $46 million. (Despite the size of our position, we exercised no control over operations.)

We then purchased the remaining 50% of GEICO at the beginning of 1996, which spurred Davy, at 95, to make a video tape saying how happy he was that his beloved GEICO would permanently reside with Berkshire. (He also playfully concluded with, "Next time, Warren, please make an appointment.")

A lot has happened at GEICO during the last 60 years, but its core goal – saving Americans substantial money on their purchase of auto insurance – remains unchanged. (Try us at 1-800-847-7536 or www.GEICO.com.) In other words, get the policyholder's business by *deserving* his business. Focusing on this objective, the company has grown to be America's third-largest auto insurer, with a market share of 8.8%.

When Tony Nicely, GEICO's CEO, took over in 1993, that share was 2.0%, a level at which it had been stuck for more than a decade. GEICO became a different company under Tony, finding a path to consistent growth while simultaneously maintaining underwriting discipline and keeping its costs low.

Let me quantify Tony's achievement. When, in 1996, we bought the 50% of GEICO we didn't already own, it cost us about $2.3 billion. That price implied a value of $4.6 billion for 100%. GEICO then had tangible net worth of $1.9 billion.

The excess over tangible net worth of the implied value – $2.7 billion – was what we estimated GEICO's "goodwill" to be worth at that time. That goodwill represented the economic value of the policyholders who were then doing business with GEICO. In 1995, those customers had paid the company $2.8 billion in premiums. Consequently, we were valuing GEICO's customers at about 97% (2.7/2.8) of what they were annually paying the company. By industry standards, that was a very high price. But GEICO was no ordinary insurer: Because of the company's low costs, its policyholders were consistently profitable and unusually loyal.

Today, premium volume is $14.3 billion and growing. Yet we carry the goodwill of GEICO on our books at only $1.4 billion, an amount that will remain unchanged no matter how much the value of GEICO increases. (Under accounting rules, you write down the carrying value of goodwill if its economic value decreases, but leave it unchanged if economic value increases.) Using the 97%-of-premium-volume yardstick we applied to our 1996 purchase, the real value today of GEICO's economic goodwill is about $14 billion. And this value is likely to be much higher ten and twenty years from now. GEICO – off to a strong start in 2011 – is the gift that keeps giving.

One not-so-small footnote: Under Tony, GEICO has developed one of the country's largest personal-lines insurance *agencies*, which primarily sells homeowners policies to our GEICO auto insurance customers. In this business, we represent a number of insurers that are not affiliated with us. They take the risk; we simply sign up the customers. Last year we sold 769,898 new policies at this agency operation, up 34% from the year before. The obvious way this activity aids us is that it produces commission revenue; equally important is the fact that it further strengthens our relationship with our policyholders, helping us retain them.

I owe an enormous debt to Tony and Davy (and, come to think of it, to that janitor as well).

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Now, let's examine the four major sectors of Berkshire. Each has vastly different balance sheet and income characteristics from the others. Lumping them together therefore impedes analysis. So we'll present them as four separate businesses, which is how Charlie and I view them.

We will look first at insurance, Berkshire's core operation and the engine that has propelled our expansion over the years.

Insurance

Property-casualty ("P/C") insurers receive premiums upfront and pay claims later. In extreme cases, such as those arising from certain workers' compensation accidents, payments can stretch over decades. This collect-now, pay-later model leaves us holding large sums – money we call "float" – that will eventually go to others. Meanwhile, we get to invest this float for Berkshire's benefit. Though individual policies and claims come and go, the amount of float we hold remains remarkably stable in relation to premium volume. Consequently, as our business grows, so does our float. And how we have grown: Just take a look at the following table:

Yearend	*Float (in $ millions)*
1970	$ 39
1980	237
1990	1,632
2000	27,871
2010	65,832

If our premiums exceed the total of our expenses and eventual losses, we register an underwriting profit that adds to the investment income that our float produces. When such a profit occurs, we enjoy the use of free money – and, better yet, get *paid* for holding it. Alas, the wish of all insurers to achieve this happy result creates intense competition, so vigorous in most years that it causes the P/C industry as a whole to operate at a significant underwriting *loss*. This loss, in effect, is what the industry pays to hold its float. For example, State Farm, by far the country's largest insurer and a well-managed company, has incurred an underwriting loss in seven of the last ten years. During that period, its aggregate underwriting loss was more than $20 billion.

At Berkshire, we have now operated at an underwriting profit for eight consecutive years, our total underwriting gain for the period having been $17 billion. I believe it likely that we will continue to underwrite profitably in most – though certainly not all – future years. If we accomplish that, our float will be better than cost-free. We will benefit just as we would if some party deposited $66 billion with us, paid us a fee for holding its money and then let us invest its funds for our own benefit.

Let me emphasize again that cost-free float is *not* an outcome to be expected for the P/C industry as a whole: In most years, industry premiums have been inadequate to cover claims plus expenses. Consequently, the industry's overall return on tangible equity has for many decades fallen far short of the average return realized by American industry, a sorry performance almost certain to continue. Berkshire's outstanding economics exist only because we have some terrific managers running some unusual businesses. We've already told you about GEICO, but we have two other very large operations, and a bevy of smaller ones as well, each a star in its own way.

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First off is the Berkshire Hathaway Reinsurance Group, run by Ajit Jain. Ajit insures risks that no one else has the desire or the capital to take on. His operation combines capacity, speed, decisiveness and, most importantly, brains in a manner that is unique in the insurance business. Yet he never exposes Berkshire to risks that are inappropriate in relation to our resources. Indeed, we are *far* more conservative than most large insurers in that respect. In the past year, Ajit has significantly increased his life reinsurance operation, developing annual premium volume of about $2 billion that will repeat for decades.

From a standing start in 1985, Ajit has created an insurance business with float of $30 billion and significant underwriting profits, a feat that no CEO of any other insurer has come close to matching. By his accomplishments, he has added a great many billions of dollars to the value of Berkshire. Even kryptonite bounces off Ajit.

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We have another insurance powerhouse in General Re, managed by Tad Montross.

At bottom, a sound insurance operation requires four disciplines: (1) An understanding of *all* exposures that might cause a policy to incur losses; (2) A conservative evaluation of the likelihood of any exposure actually causing a loss and the probable cost if it does; (3) The setting of a premium that will deliver a profit, on average, after both prospective loss costs and operating expenses are covered; and (4) The willingness to walk away if the appropriate premium can't be obtained.

Many insurers pass the first three tests and flunk the fourth. The urgings of Wall Street, pressures from the agency force and brokers, or simply a refusal by a testosterone-driven CEO to accept shrinking volumes has led too many insurers to write business at inadequate prices. "The other guy is doing it so we must as well" spells trouble in any business, but none more so than insurance.

Tad has observed all four of the insurance commandments, and it shows in his results. General Re's huge float has been better than cost-free under his leadership, and we expect that, on average, it will continue to be.

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Finally, we own a group of smaller companies, most of them specializing in odd corners of the insurance world. In aggregate, their results have consistently been profitable and, as the table below shows, the float they provide us is substantial. Charlie and I treasure these companies and their managers.

Here is the record of all four segments of our property-casualty and life insurance businesses:

	Underwriting Profit		*Yearend Float*	
			(in millions)	
Insurance Operations	*2010*	*2009*	*2010*	*2009*
General Re	$ 452	$ 477	$20,049	$21,014
BH Reinsurance	176	250	30,370	27,753
GEICO	1,117	649	10,272	9,613
Other Primary	268	84	5,141	5,061
	$2,013	$1,460	$65,832	$63,441

Among large insurance operations, Berkshire's impresses me as the best in the world.

Manufacturing, Service and Retailing Operations

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/10 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 2,673	Notes payable	$ 1,805
Accounts and notes receivable	5,396	Other current liabilities	8,169
Inventory	7,101	Total current liabilities	9,974
Other current assets	550		
Total current assets	15,720		
Goodwill and other intangibles	16,976	Deferred taxes	3,001
Fixed assets	15,421	Term debt and other liabilities	6,621
Other assets	3,029	Equity	31,550
	$51,146		$51,146

Earnings Statement (in millions)

	2010	*2009*	*2008*
Revenues	$66,610	$61,665	$66,099
Operating expenses (including depreciation of $1,362 in 2010, $1,422 in 2009 and $1,280 in 2008)	62,225	59,509	61,937
Interest expense	111	98	139
Pre-tax earnings	4,274*	2,058*	4,023*
Income taxes and non-controlling interests	1,812	945	1,740
Net earnings	$ 2,462	$ 1,113	$ 2,283

*Does not include purchase-accounting adjustments.

This group of companies sells products ranging from lollipops to jet airplanes. Some of the businesses enjoy terrific economics, measured by earnings on unleveraged net *tangible* assets that run from 25% after-tax to more than 100%. Others produce good returns in the area of 12-20%. Unfortunately, a few have very poor returns, a result of some serious mistakes I have made in my job of capital allocation. These errors came about because I misjudged either the competitive strength of the business I was purchasing or the future economics of the industry in which it operated. I try to look out ten or twenty years when making an acquisition, but sometimes my eyesight has been poor.

Most of the companies in this section improved their earnings last year and four set records. Let's look first at the record-breakers.

- TTI, our electronic components distributor, had sales 21% above its previous high (recorded in 2008) and pre-tax earnings that topped its earlier record by 58%. Its sales gains spanned three continents, with North America at 16%, Europe at 26%, and Asia at 50%. The thousands of items TTI distributes are pedestrian, many selling for less than a dollar. The magic of TTI's exceptional performance is created by Paul Andrews, its CEO, and his associates.

- Forest River, our RV and boat manufacturer, had record sales of nearly $2 billion and record earnings as well. Forest River has 82 plants, and I have yet to visit one (or the home office, for that matter). There's no need; Pete Liegl, the company's CEO, runs a terrific operation. Come view his products at the annual meeting. Better yet, buy one.

- CTB, our farm-equipment company, again set an earnings record. I told you in the 2008 Annual Report about Vic Mancinelli, the company's CEO. He just keeps getting better. Berkshire paid $140 million for CTB in 2002. It has since paid us dividends of $160 million and eliminated $40 million of debt. Last year it earned $106 million pre-tax. Productivity gains have produced much of this increase. When we bought CTB, sales per employee were $189,365; now they are $405,878.

- Would you believe shoes? H. H. Brown, run by Jim Issler and best known for its Born brand, set a new record for sales and earnings (helped by its selling 1,110 pairs of shoes at our annual meeting). Jim has brilliantly adapted to major industry changes. His work, I should mention, is overseen by Frank Rooney, 89, a superb businessman and still a dangerous fellow with whom to have a bet on the golf course.

A huge story in this sector's year-to-year improvement occurred at NetJets. I can't overstate the breadth and importance of Dave Sokol's achievements at this company, the leading provider of fractional ownership of jet airplanes. NetJets has long been an operational success, owning a 2010 market share five times that of its nearest competitor. Our overwhelming leadership stems from a wonderful team of pilots, mechanics and service personnel. This crew again did its job in 2010, with customer satisfaction, as delineated in our regular surveys, hitting new highs.

Even though NetJets was consistently a runaway winner with customers, our financial results, since its acquisition in 1998, were a failure. In the 11 years through 2009, the company reported an aggregate pre-tax loss of $157 million, a figure that was far understated since borrowing costs at NetJets were heavily subsidized by its free use of Berkshire's credit. Had NetJets been operating on a stand-alone basis, its loss over the years would have been several hundreds of millions greater.

We are now charging NetJets an appropriate fee for Berkshire's guarantee. Despite this fee (which came to $38 million in 2010), NetJets earned $207 million pre-tax in 2010, a swing of $918 million from 2009. Dave's quick restructuring of management and the company's rationalization of its purchasing and spending policies has ended the hemorrhaging of cash and turned what was Berkshire's only major business problem into a solidly profitable operation.

Dave has meanwhile maintained NetJets' industry-leading reputation for safety and service. In many important ways, our training and operational standards are considerably stronger than those required by the FAA. Maintaining top-of-the-line standards is the right thing to do, but I also have a selfish reason for championing this policy. My family and I have flown more than 5,000 hours on NetJets (that's equal to being airborne 24 hours a day for seven months) and will fly thousands of hours more in the future. We receive no special treatment and have used a random mix of at least 100 planes and 300 crews. Whichever the plane or crew, we always know we are flying with the best-trained pilots in private aviation.

The largest earner in our manufacturing, service and retailing sector is Marmon, a collection of 130 businesses. We will soon increase our ownership in this company to 80% by carrying out our scheduled purchase of 17% of its stock from the Pritzker family. The cost will be about $1.5 billion. We will then purchase the remaining Pritzker holdings in 2013 or 2014, whichever date is selected by the family. Frank Ptak runs Marmon wonderfully, and we look forward to 100% ownership.

Next to Marmon, the two largest earners in this sector are Iscar and McLane. Both had excellent years. In 2010, Grady Rosier's McLane entered the wine and spirits distribution business to supplement its $32 billion operation as a distributor of food products, cigarettes, candy and sundries. In purchasing Empire Distributors, an operator in Georgia and North Carolina, we teamed up with David Kahn, the company's dynamic CEO. David is leading our efforts to expand geographically. By yearend he had already made his first acquisition, Horizon Wine and Spirits in Tennessee.

At Iscar, profits were up 159% in 2010, and we may well surpass pre-recession levels in 2011. Sales are improving throughout the world, particularly in Asia. Credit Eitan Wertheimer, Jacob Harpaz and Danny Goldman for an exceptional performance, one far superior to that of Iscar's main competitors.

All that is good news. Our businesses related to home construction, however, continue to struggle. Johns Manville, MiTek, Shaw and Acme Brick have maintained their competitive positions, but their profits are far below the levels of a few years ago. Combined, these operations earned $362 million pre-tax in 2010 compared to $1.3 billion in 2006, and their employment has fallen by about 9,400.

A housing recovery will probably begin within a year or so. In any event, it is certain to occur at some point. Consequently: (1) At MiTek, we have made, or committed to, five bolt-on acquisitions during the past eleven months; (2) At Acme, we just recently acquired the leading manufacturer of brick in Alabama for $50 million; (3) Johns Manville is building a $55 million roofing membrane plant in Ohio, to be completed next year; and (4) Shaw will spend $200 million in 2011 on plant and equipment, all of it situated in America. These businesses entered the recession strong and will exit it stronger. At Berkshire, our time horizon is forever.

Regulated, Capital-Intensive Businesses

We have two very large businesses, BNSF and MidAmerican Energy, with important common characteristics that distinguish them from our many others. Consequently, we give them their own sector in this letter and split out their financial statistics in our GAAP balance sheet and income statement.

A key characteristic of both companies is the huge investment they have in very long-lived, regulated assets, with these funded by large amounts of long-term debt that is *not* guaranteed by Berkshire. Our credit is not needed: Both businesses have earning power that, even under very adverse business conditions, amply covers their interest requirements. For example, in recessionary 2010 with BNSF's car loadings far off peak levels, the company's interest coverage was 6:1.

Both companies are heavily regulated, and both will have a never-ending need to make major investments in plant and equipment. Both also need to provide efficient, customer-satisfying service to earn the respect of their communities and regulators. In return, both need to be assured that they will be allowed to earn reasonable earnings on future capital investments.

Earlier I explained just how important railroads are to our country's future. Rail moves 42% of America's inter-city freight, measured by ton-miles, and BNSF moves more than any other railroad – about 28% of the industry total. A little math will tell you that more than 11% of *all* inter-city ton-miles of freight in the U.S. is transported by BNSF. Given the shift of population to the West, our share may well inch higher.

All of this adds up to a huge responsibility. We are a major and essential part of the American economy's circulatory system, obliged to constantly maintain and improve our 23,000 miles of track along with its ancillary bridges, tunnels, engines and cars. In carrying out this job, we must anticipate society's needs, not merely react to them. Fulfilling our societal obligation, we will regularly spend far more than our depreciation, with this excess amounting to $2 billion in 2011. I'm confident we will earn appropriate returns on our huge incremental investments. Wise regulation and wise investment are two sides of the same coin.

At MidAmerican, we participate in a similar "social compact." We are expected to put up ever-increasing sums to satisfy the future needs of our customers. If we meanwhile operate reliably and efficiently, we know that we will obtain a fair return on these investments.

MidAmerican supplies 2.4 million customers in the U.S. with electricity, operating as the largest supplier in Iowa, Wyoming and Utah and as an important provider in other states as well. Our pipelines transport 8% of the country's natural gas. Obviously, many millions of Americans depend on us every day.

MidAmerican has delivered outstanding results for both its owners (Berkshire's interest is 89.8%) and its customers. Shortly after MidAmerican purchased Northern Natural Gas pipeline in 2002, that company's performance as a pipeline was rated dead last, 43 out of 43, by the leading authority in the field. In the most recent report published, Northern Natural was ranked second. The top spot was held by our other pipeline, Kern River.

In its electric business, MidAmerican has a comparable record. Iowa rates have not increased since we purchased our operation there in 1999. During the same period, the other major electric utility in the state has raised prices more than 70% and now has rates far above ours. In certain metropolitan areas in which the two utilities operate side by side, electric bills of our customers run far below those of their neighbors. I am told that comparable houses sell at higher prices in these cities if they are located in our service area.

MidAmerican will have 2,909 megawatts of wind generation in operation by the end of 2011, more than any other regulated electric utility in the country. The total amount that MidAmerican has invested or committed to wind is a staggering $5.4 billion. We can make this sort of investment because MidAmerican retains *all* of its earnings, unlike other utilities that generally pay out most of what they earn.

As you can tell by now, I am proud of what has been accomplished for our society by Matt Rose at BNSF and by David Sokol and Greg Abel at MidAmerican. I am also both proud and grateful for what they have accomplished for Berkshire shareholders. Below are the relevant figures:

MidAmerican	*Earnings (in millions)*	
	2010	*2009*
U.K. utilities	$ 333	$ 248
Iowa utility	279	285
Western utilities	783	788
Pipelines	378	457
HomeServices	42	43
Other (net)	47	25
Operating earnings before corporate interest and taxes	1,862	1,846
Interest, other than to Berkshire	(323)	(318)
Interest on Berkshire junior debt	(30)	(58)
Income tax	(271)	(313)
Net earnings	$1,238	$1,157
Earnings applicable to Berkshire*	$1,131	$1,071

*Includes interest earned by Berkshire (net of related income taxes) of $19 in 2010 and $38 in 2009.

BNSF		
(Historical accounting through 2/12/10; purchase accounting subsequently)	*(in millions)*	
	2010	*2009*
Revenues	$16,850	$14,016
Operating earnings	4,495	3,254
Interest (Net)	507	613
Pre-Tax earnings	3,988	2,641
Net earnings	2,459	1,721

Finance and Financial Products

This, our smallest sector, includes two rental companies, XTRA (trailers) and CORT (furniture), and Clayton Homes, the country's leading producer and financer of manufactured homes.

Both of our leasing businesses improved their performances last year, albeit from a very low base. XTRA increased the utilization of its equipment from 63% in 2009 to 75% in 2010, thereby raising pre-tax earnings to $35 million from $17 million in 2009. CORT experienced a pickup in business as the year progressed and also significantly tightened its operations. The combination increased its pre-tax results from a loss of $3 million in 2009 to $18 million of profit in 2010.

At Clayton, we produced 23,343 homes, 47% of the industry's total of 50,046. Contrast this to the peak year of 1998, when 372,843 homes were manufactured. (We then had an industry share of 8%.) Sales would have been terrible last year under any circumstances, but the financing problems I commented upon in the 2009 report continue to exacerbate the distress. To explain: Home-financing policies of our government, expressed through the loans found acceptable by FHA, Freddie Mac and Fannie Mae, favor site-built homes and work to negate the price advantage that manufactured homes offer.

We finance more manufactured-home buyers than any other company. Our experience, therefore, should be instructive to those parties preparing to overhaul our country's home-loan practices. Let's take a look.

Clayton owns 200,804 mortgages that it originated. (It also has some mortgage portfolios that it purchased.) At the origination of these contracts, the average FICO score of our borrowers was 648, and 47% were 640 or below. Your banker will tell you that people with such scores are generally regarded as questionable credits.

Nevertheless, our portfolio has performed well during conditions of stress. Here's our loss experience during the last five years for originated loans:

Year	*Net Losses as a Percentage of Average Loans*
2006	1.53%
2007	1.27%
2008	1.17%
2009	1.86%
2010	1.72%

Our borrowers get in trouble when they lose their jobs, have health problems, get divorced, etc. The recession has hit them hard. But they want to stay in their homes, and generally they borrowed sensible amounts in relation to their income. In addition, we were keeping the originated mortgages for our own account, which means we were not securitizing or otherwise reselling them. If we were stupid in our lending, *we* were going to pay the price. That concentrates the mind.

If home buyers throughout the country had behaved like our buyers, America would not have had the crisis that it did. Our approach was simply to get a meaningful down-payment and gear *fixed* monthly payments to a sensible percentage of income. This policy kept Clayton solvent and also kept buyers in their homes.

Home ownership makes sense for most Americans, particularly at today's lower prices and bargain interest rates. All things considered, the third best investment I ever made was the purchase of my home, though I would have made far more money had I instead rented and used the purchase money to buy stocks. (The two best investments were wedding rings.) For the $31,500 I paid for our house, my family and I gained 52 years of terrific memories with more to come.

But a house can be a nightmare if the buyer's eyes are bigger than his wallet and if a lender – often protected by a government guarantee – facilitates his fantasy. Our country's social goal should not be to put families into the house of their dreams, but rather to put them into a house they can afford.

Investments

Below we show our common stock investments that at yearend had a market value of more than $1 billion.

			12/31/10	
Shares	*Company*	*Percentage of Company Owned*	*Cost **	*Market*
			(in millions)	
151,610,700	American Express Company	12.6	$ 1,287	$ 6,507
225,000,000	BYD Company, Ltd.	9.9	232	1,182
200,000,000	The Coca-Cola Company	8.6	1,299	13,154
29,109,637	ConocoPhillips	2.0	2,028	1,982
45,022,563	Johnson & Johnson	1.6	2,749	2,785
97,214,584	Kraft Foods Inc.	5.6	3,207	3,063
19,259,600	Munich Re	10.5	2,896	2,924
3,947,555	POSCO	4.6	768	1,706
72,391,036	The Procter & Gamble Company	2.6	464	4,657
25,848,838	Sanofi-Aventis	2.0	2,060	1,656
242,163,773	Tesco plc	3.0	1,414	1,608
78,060,769	U.S. Bancorp	4.1	2,401	2,105
39,037,142	Wal-Mart Stores, Inc.	1.1	1,893	2,105
358,936,125	Wells Fargo & Company	6.8	8,015	11,123
	Others		3,020	4,956
	Total Common Stocks Carried at Market		$33,733	$61,513

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required.

In our reported earnings we reflect only the dividends our portfolio companies pay us. Our share of the undistributed earnings of these investees, however, was more than $2 billion last year. These retained earnings are important. In our experience – and, for that matter, in the experience of investors over the past century – undistributed earnings have been either matched or exceeded by market gains, albeit in a highly irregular manner. (Indeed, sometimes the correlation goes in reverse. As one investor said in 2009: "This is worse than divorce. I've lost half my net worth – and I still have my wife.") In the future, we expect our market gains to eventually at least equal the earnings our investees retain.

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In our earlier estimate of Berkshire's normal earning power, we made three adjustments that relate to future investment income (but did *not* include anything for the undistributed earnings factor I have just described).

The first adjustment was decidedly negative. Last year, we discussed five large fixed-income investments that have been contributing substantial sums to our reported earnings. One of these – our Swiss Re note – was redeemed in the early days of 2011, and two others – our Goldman Sachs and General Electric preferred stocks – are likely to be gone by yearend. General Electric is entitled to call our preferred in October and has stated its intention to do so. Goldman Sachs has the right to call our preferred on 30 days notice, but has been held back by the Federal Reserve (bless it!), which unfortunately will likely give Goldman the green light before long.

All three of the companies redeeming must pay us a premium to do so – in aggregate about $1.4 billion – but all of the redemptions are nevertheless unwelcome. After they occur, our earning power will be significantly reduced. That's the bad news.

There are two probable offsets. At yearend we held $38 billion of cash equivalents that have been earning a pittance throughout 2010. At some point, however, better rates will return. They will add at least $500 million – and perhaps much more – to our investment income. That sort of increase in money-market yields is unlikely to come soon. It is appropriate, nevertheless, for us to include improved rates in an estimate of "normal" earning power. Even before higher rates come about, furthermore, we could get lucky and find an opportunity to use some of our cash hoard at decent returns. That day can't come too soon for me: To update Aesop, a girl in a convertible is worth five in the phone book.

In addition, dividends on our current common stock holdings will almost certainly increase. The largest gain is likely to come at Wells Fargo. The Federal Reserve, our friend in respect to Goldman Sachs, has frozen dividend levels at major banks, whether strong or weak, during the last two years. Wells Fargo, though consistently prospering throughout the worst of the recession and currently enjoying enormous financial strength and earning power, has therefore been forced to maintain an artificially low payout. (We don't fault the Fed: For various reasons, an across-the-board freeze made sense during the crisis and its immediate aftermath.)

At some point, probably soon, the Fed's restrictions will cease. Wells Fargo can then reinstate the rational dividend policy that its owners deserve. At that time, we would expect our annual dividends from just this one security to increase by several hundreds of millions of dollars annually.

Other companies we hold are likely to increase their dividends as well. Coca-Cola paid us $88 million in 1995, the year after we finished purchasing the stock. Every year since, Coke has increased its dividend. In 2011, we will almost certainly receive $376 million from Coke, up $24 million from last year. Within ten years, I would expect that $376 million to double. By the end of that period, I wouldn't be surprised to see our share of Coke's *annual* earnings exceed 100% of what we paid for the investment. Time is the friend of the wonderful business.

Overall, I believe our "normal" investment income will at least equal what we realized in 2010, though the redemptions I described will cut our take in 2011 and perhaps 2012 as well.

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Last summer, Lou Simpson told me he wished to retire. Since Lou was a mere 74 – an age Charlie and I regard as appropriate only for trainees at Berkshire – his call was a surprise.

Lou joined GEICO as its investment manager in 1979, and his service to that company has been invaluable. In the 2004 Annual Report, I detailed his record with equities, and I have omitted updates only because his performance made mine look bad. Who needs that?

Lou has never been one to advertise his talents. But I will: Simply put, Lou is one of the investment greats. We will miss him.

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Four years ago, I told you that we needed to add one or more younger investment managers to carry on when Charlie, Lou and I weren't around. At that time we had multiple outstanding candidates immediately available for my CEO job (as we do now), but we did not have backup in the investment area.

It's easy to identify many investment managers with great recent records. But past results, though important, do not suffice when prospective performance is being judged. How the record has been achieved is crucial, as is the manager's understanding of – and sensitivity to – risk (which in no way should be measured by beta, the choice of too many academics). In respect to the risk criterion, we were looking for someone with a hard-to-evaluate skill: the ability to anticipate the effects of economic scenarios not previously observed. Finally, we wanted someone who would regard working for Berkshire as far more than a job.

When Charlie and I met Todd Combs, we knew he fit our requirements. Todd, as was the case with Lou, will be paid a salary plus a contingent payment based on his performance relative to the S&P. We have arrangements in place for deferrals and carryforwards that will prevent see-saw performance being met by undeserved payments. The hedge-fund world has witnessed some terrible behavior by general partners who have received huge payouts on the upside and who then, when bad results occurred, have walked away rich, with their limited partners losing back their earlier gains. Sometimes these same general partners thereafter quickly started another fund so that they could immediately participate in future profits without having to overcome their past losses. Investors who put money with such managers should be labeled patsies, not partners.

As long as I am CEO, I will continue to manage the great majority of Berkshire's holdings, both bonds and equities. Todd initially will manage funds in the range of one to three billion dollars, an amount he can reset annually. His focus will be equities but he is not restricted to that form of investment. (Fund consultants like to require style boxes such as "long-short," "macro," "international equities." At Berkshire our only style box is "smart.")

Over time, we may add one or two investment managers if we find the right individuals. Should we do that, we will probably have 80% of each manager's performance compensation be dependent on his or her own portfolio and 20% on that of the other manager(s). We want a compensation system that pays off big for individual success but that also fosters cooperation, not competition.

When Charlie and I are no longer around, our investment manager(s) will have responsibility for the entire portfolio in a manner then set by the CEO and Board of Directors. Because good investors bring a useful perspective to the purchase of businesses, we would expect them to be consulted – but not to have a vote – on the wisdom of possible acquisitions. In the end, of course, the Board will make the call on any major acquisition.

One footnote: When we issued a press release about Todd's joining us, a number of commentators pointed out that he was "little-known" and expressed puzzlement that we didn't seek a "big-name." I wonder how many of them would have known of Lou in 1979, Ajit in 1985, or, for that matter, Charlie in 1959. Our goal was to find a 2-year-old Secretariat, not a 10-year-old Seabiscuit. (Whoops – that may not be the smartest metaphor for an 80-year-old CEO to use.)

Derivatives

Two years ago, in the 2008 Annual Report, I told you that Berkshire was a party to 251 derivatives contracts (other than those used for operations at our subsidiaries, such as MidAmerican, and the few left over at Gen Re). Today, the comparable number is 203, a figure reflecting both a few additions to our portfolio and the unwinding or expiration of some contracts.

Our continuing positions, all of which I am personally responsible for, fall largely into two categories. We view both categories as engaging us in insurance-like activities in which we receive premiums for assuming risks that others wish to shed. Indeed, the thought processes we employ in these derivatives transactions are identical to those we use in our insurance business. You should also understand that we get paid up-front when we enter into the contracts and therefore run no counterparty risk. That's important.

Our first category of derivatives consists of a number of contracts, written in 2004-2008, that required payments by us if there were bond defaults by companies included in certain high-yield indices. With minor exceptions, we were exposed to these risks for five years, with each contract covering 100 companies.

In aggregate, we received premiums of $3.4 billion for these contracts. When I originally told you in our 2007 Annual Report about them, I said that I expected the contracts would deliver us an "underwriting profit," meaning that our losses would be less than the premiums we received. In addition, I said we would benefit from the use of float.

Subsequently, as you know too well, we encountered both a financial panic and a severe recession. A number of the companies in the high-yield indices failed, which required us to pay losses of $2.5 billion. Today, however, our exposure is largely behind us because most of our higher-risk contracts have expired. Consequently, it appears almost certain that we will earn an underwriting profit as we originally anticipated. In addition, we have had the use of interest-free float that averaged about $2 billion over the life of the contracts. In short, we charged the right premium, and that protected us when business conditions turned terrible three years ago.

Our other large derivatives position – whose contracts go by the name of "equity puts" – involves insurance we wrote for parties wishing to protect themselves against a possible decline in equity prices in the U.S., U.K., Europe and Japan. These contracts are tied to various equity indices, such as the S&P 500 in the U.S. and the FTSE 100 in the U.K. In the 2004-2008 period, we received $4.8 billion of premiums for 47 of these contracts, most of which ran for 15 years. On these contracts, only the price of the indices on the termination date counts: No payments can be required before then.

As a first step in updating you about these contracts, I can report that late in 2010, at the instigation of our counterparty, we unwound eight contracts, all of them due between 2021 and 2028. We had originally received $647 million in premiums for these contracts, and the unwinding required us to pay $425 million. Consequently, we realized a gain of $222 million and also had the interest-free and unrestricted use of that $647 million for about three years.

Those 2010 transactions left us with 39 equity put contracts remaining on our books at yearend. On these, at their initiation, we received premiums of $4.2 billion.

The future of these contracts is, of course, uncertain. But here is one perspective on them. If the prices of the relevant indices are the same at the contract expiration dates as these prices were on December 31, 2010 – and foreign exchange rates are unchanged – we would owe $3.8 billion on expirations occurring from 2018 to 2026. You can call this amount "settlement value."

On our yearend balance sheet, however, we carry the liability for those remaining equity puts at $6.7 billion. In other words, if the prices of the relevant indices remain unchanged from that date, we will record a $2.9 billion gain in the years to come, that being the difference between the liability figure of $6.7 billion and the settlement value of $3.8 billion. I believe that equity prices will very likely increase and that our liability will fall significantly between now and settlement date. If so, our gain from this point will be even greater. But that, of course, is far from a sure thing.

What is sure is that we will have the use of our remaining "float" of $4.2 billion for an average of about 10 more years. (Neither this float nor that arising from the high-yield contracts is included in the insurance float figure of $66 billion.) Since money is fungible, think of a portion of these funds as contributing to the purchase of BNSF.

As I have told you before, almost all of our derivatives contracts are free of any obligation to post collateral – a fact that cut the premiums we could otherwise have charged. But that fact also left us feeling comfortable during the financial crisis, allowing us in those days to commit to some advantageous purchases. Foregoing some additional derivatives premiums proved to be well worth it.

On Reporting and Misreporting: The Numbers That Count and Those That Don't

Earlier in this letter, I pointed out some numbers that Charlie and I find useful in valuing Berkshire and measuring its progress.

Let's focus here on a number we omitted, but which many in the media feature above all others: net income. Important though that number may be at most companies, it is almost always *meaningless* at Berkshire. Regardless of how our businesses might be doing, Charlie and I could – quite legally – cause net income in any given period to be almost any number we would like.

We have that flexibility because *realized* gains or losses on investments go into the net income figure, whereas *unrealized* gains (and, in most cases, losses) are excluded. For example, imagine that Berkshire had a $10 billion increase in unrealized gains in a given year and concurrently had $1 billion of realized losses. Our net income – which would count only the loss – would be reported as *less* than our operating income. If we had meanwhile realized gains in the *previous* year, headlines might proclaim that our earnings were down X% when in reality our business might be much improved.

If we really thought net income important, we could regularly feed realized gains into it simply because we have a huge amount of unrealized gains upon which to draw. Rest assured, though, that Charlie and I have *never* sold a security because of the effect a sale would have on the net income we were soon to report. We both have a deep disgust for "game playing" with numbers, a practice that was rampant throughout corporate America in the 1990s and still persists, though it occurs less frequently and less blatantly than it used to.

Operating earnings, despite having some shortcomings, are in general a reasonable guide as to how our businesses are doing. Ignore our net income figure, however. Regulations require that we report it to you. But if you find reporters focusing on it, that will speak more to their performance than ours.

Both realized and unrealized gains and losses are fully reflected in the calculation of our book value. Pay attention to the changes in that metric and to the course of our operating earnings, and you will be on the right track.

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As a p.s., I can't resist pointing out just how capricious reported net income can be. Had our equity puts had a termination date of June 30, 2010, we would have been required to pay $6.4 billion to our counterparties at that date. Security prices then generally rose in the next quarter, a move that brought the corresponding figure down to $5.8 billion on September 30th. Yet the Black-Scholes formula that we use in valuing these contracts required us to *increase* our balance-sheet liability during this period from $8.9 billion to $9.6 billion, a change that, after the effect of tax accruals, reduced our net income for the quarter by $455 million.

Both Charlie and I believe that Black-Scholes produces wildly inappropriate values when applied to long-dated options. We set out one absurd example in these pages two years ago. More tangibly, we put our money where our mouth was by entering into our equity put contracts. By doing so, we implicitly asserted that the Black-Scholes calculations used by our counterparties or their customers were faulty.

We continue, nevertheless, to use that formula in presenting our financial statements. Black-Scholes is the accepted standard for option valuation – almost all leading business schools teach it – and we would be accused of shoddy accounting if we deviated from it. Moreover, we would present our auditors with an insurmountable problem were we to do that: They have clients who are our counterparties and who use Black-Scholes values for the same contracts we hold. It would be impossible for our auditors to attest to the accuracy of both their values and ours were the two far apart.

Part of the appeal of Black-Scholes to auditors and regulators is that it produces a precise number. Charlie and I can't supply one of those. We believe the true liability of our contracts to be far lower than that calculated by Black-Scholes, but we can't come up with an exact figure – anymore than we can come up with a *precise* value for GEICO, BNSF, or for Berkshire Hathaway itself. Our inability to pinpoint a number doesn't bother us: We would rather be approximately right than precisely wrong.

John Kenneth Galbraith once slyly observed that economists were most economical with ideas: They made the ones learned in graduate school last a lifetime. University finance departments often behave similarly. Witness the tenacity with which almost all clung to the theory of efficient markets throughout the 1970s and 1980s, dismissively calling powerful facts that refuted it "anomalies." (I always love explanations of that kind: The Flat Earth Society probably views a ship's circling of the globe as an annoying, but inconsequential, anomaly.)

Academics' current practice of teaching Black-Scholes as revealed truth needs re-examination. For that matter, so does the academic's inclination to dwell on the valuation of options. You can be highly successful as an investor without having the slightest ability to value an option. What students *should* be learning is how to value a business. That's what investing is all about.

Life and Debt

The fundamental principle of auto racing is that to finish first, you must first finish. That dictum is equally applicable to business and guides our every action at Berkshire.

Unquestionably, some people have become very rich through the use of borrowed money. However, that's also been a way to get very poor. When leverage works, it magnifies your gains. Your spouse thinks you're clever, and your neighbors get envious. But leverage is addictive. Once having profited from its wonders, very few people retreat to more conservative practices. And as we all learned in third grade – and some relearned in 2008 – any series of positive numbers, however impressive the numbers may be, evaporates when multiplied by a single zero. History tells us that leverage all too often produces zeroes, even when it is employed by very smart people.

Leverage, of course, can be lethal to businesses as well. Companies with large debts often assume that these obligations can be refinanced as they mature. That assumption is usually valid. Occasionally, though, either because of company-specific problems or a worldwide shortage of credit, maturities must actually be met by payment. For that, only cash will do the job.

Borrowers then learn that credit is like oxygen. When either is abundant, its presence goes unnoticed. When either is missing, that's *all* that is noticed. Even a short absence of credit can bring a company to its knees. In September 2008, in fact, its overnight disappearance in many sectors of the economy came dangerously close to bringing our entire country to its knees.

Charlie and I have *no* interest in any activity that could pose the slightest threat to Berkshire's well-being. (With our having a combined age of 167, starting over is not on our bucket list.) We are forever conscious of the fact that you, our partners, have entrusted us with what in many cases is a major portion of your savings. In addition, important philanthropy is dependent on our prudence. Finally, many disabled victims of accidents caused by our insureds are counting on us to deliver sums payable decades from now. It would be irresponsible for us to risk what all these constituencies need just to pursue a few points of extra return.

A little personal history may partially explain our extreme aversion to financial adventurism. I didn't meet Charlie until he was 35, though he grew up within 100 yards of where I have lived for 52 years and also attended the same inner-city public high school in Omaha from which my father, wife, children and two grandchildren graduated. Charlie and I did, however, both work as young boys at my grandfather's grocery store, though our periods of employment were separated by about five years. My grandfather's name was Ernest, and perhaps no man was more aptly named. No one worked for Ernest, even as a stock boy, without being shaped by the experience.

On the facing page you can read a letter sent in 1939 by Ernest to his youngest son, my Uncle Fred. Similar letters went to his other four children. I still have the letter sent to my Aunt Alice, which I found – along with $1,000 of cash – when, as executor of her estate, I opened her safe deposit box in 1970.

Ernest never went to business school – he never in fact finished high school – but he understood the importance of liquidity as a condition for *assured* survival. At Berkshire, we have taken his $1,000 solution a bit further and have pledged that we will hold at least $10 billion of cash, excluding that held at our regulated utility and railroad businesses. Because of that commitment, we customarily keep at least $20 billion on hand so that we can both withstand unprecedented insurance losses (our largest to date having been about $3 billion from Katrina, the insurance industry's most expensive catastrophe) and quickly seize acquisition or investment opportunities, even during times of financial turmoil.

Dear Fred & Catherine:

Over a period of a good many years I have known a great many people who at some time or another have suffered in various ways simply because they did not have ready cash. I have known people who have had to sacrifice some of their holdings in order to have money that was necessary at that time.

For a good many years your grandfather kept a certain amount of money where he could put his hands on it in very short notice.

For a number of years I have made it a point to keep a reserve, should some occasion come up where I would need money quickly, without disturbing the money that I have in my business. There have been a couple occasions when I found it very convenient to go to this fund.

Thus, I feel that everyone should have a reserve. I hope it never happens to you, but the chances are that some day you will need money, and need it badly, and with this thought in view, I started a fund by placing $200.00 in an envelope,with your name on it, when you were married. Each year I added something to it, until there is now $1000.00 in the fund.

Ten years have elapsed since you were married, and this fund is now completed.

It is my wish that you place this envelope in your safety deposit box, and keep it for the purpose that it was created for. Should the time come when you need part, I would suggest that you use as little as possible, and replace it as soon as possible.

You might feel that this should be invested and bring you an income. Forget it -- the mental satisfaction of having $1000.00 laid away where you can put your hands on it, is worth more than what interest it might bring, especially if you have the investment in something that you could not realize on quickly.

If in after years you feel this has been a good idea, you might repeat it with your own children.

For your information, I might mention that there has never been a Buffett who ever left a very large estate, but there has never been one that did not leave something. They never spent all they made, but always saved part of what they made, and it has all worked out pretty well.

This letter is being written at the expiration of ten years after you were married.

Lovingly,

"Dad"

We keep our cash largely in U.S. Treasury bills and avoid other short-term securities yielding a few more basis points, a policy we adhered to long before the frailties of commercial paper and money market funds became apparent in September 2008. We agree with investment writer Ray DeVoe's observation, "More money has been lost reaching for yield than at the point of a gun." At Berkshire, we don't rely on bank lines, and we don't enter into contracts that could require postings of collateral except for amounts that are tiny in relation to our liquid assets.

Furthermore, not a dime of cash has left Berkshire for dividends or share repurchases during the past 40 years. Instead, we have retained *all* of our earnings to strengthen our business, a reinforcement now running about $1 billion per month. Our net worth has thus increased from $48 million to $157 billion during those four decades and our intrinsic value has grown far more. No other American corporation has come close to building up its financial strength in this unrelenting way.

By being so cautious in respect to leverage, we penalize our returns by a minor amount. Having loads of liquidity, though, lets us sleep well. Moreover, during the episodes of financial chaos that occasionally erupt in our economy, we will be equipped both financially and emotionally to play offense while others scramble for survival. That's what allowed us to invest $15.6 billion in 25 days of panic following the Lehman bankruptcy in 2008.

The Annual Meeting

The annual meeting will be held on Saturday, April 30th. Carrie Kizer from our home office will be the ringmaster, and her theme this year is Planes, Trains and Automobiles. This gives NetJets, BNSF and BYD a chance to show off.

As always, the doors will open at the Qwest Center at 7 a.m., and a new Berkshire movie will be shown at 8:30. At 9:30 we will go directly to the question-and-answer period, which (with a break for lunch at the Qwest's stands) will last until 3:30. After a short recess, Charlie and I will convene the annual meeting at 3:45. If you decide to leave during the day's question periods, please do so while *Charlie* is talking. (Act fast; he can be terse.)

The best reason to exit, of course, is to *shop*. We will help you do that by filling the 194,300-square-foot hall that adjoins the meeting area with products from dozens of Berkshire subsidiaries. Last year, you did your part, and most locations racked up record sales. In a nine-hour period, we sold 1,053 pairs of Justin boots, 12,416 pounds of See's candy, 8,000 Dairy Queen Blizzards® and 8,800 Quikut knives (that's 16 knives per minute). But you can do better. Remember: Anyone who says money can't buy happiness simply hasn't learned where to shop.

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a shareholder discount (usually 8%). This special offer is permitted by 44 of the 51 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another, such as that given certain groups.) Bring the details of your existing insurance and check out whether we can save you money. For at least half of you, I believe we can.

Be sure to visit the Bookworm. It will carry more than 60 books and DVDs, including the Chinese language edition of Poor Charlie's Almanack, the ever-popular book about my partner. So what if you can't read Chinese? Just buy a copy and carry it around; it will make you look urbane and erudite. Should you need to ship your book purchases, a shipping service will be available nearby.

If you are a big spender – or merely a gawker – visit Elliott Aviation on the east side of the Omaha airport between noon and 5:00 p.m. on Saturday. There we will have a fleet of NetJets aircraft that will get your pulse racing. Come by bus; leave by private jet.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. As for plane, hotel and car reservations, we have again signed up American Express (800-799-6634) to give you special help. Carol Pedersen, who handles these matters, does a terrific job for us each year, and I thank her for it. Hotel rooms can be hard to find, but work with Carol and you will get one.

Airlines have often jacked up prices – sometimes dramatically so – for the Berkshire weekend. If you are coming from far away, compare the cost of flying to Kansas City versus Omaha. The drive is about 2½ hours and it may be that you can save significant money, particularly if you had planned to rent a car in Omaha.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. Last year the store did $33.3 million of business during its annual meeting sale, a volume that – as far as I know – exceeds the one-week total of *any* retail store anyplace. To obtain the Berkshire discount, you must make your purchases between Tuesday, April 26th and Monday, May 2nd inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m. to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m., NFM is having a picnic to which you are all invited.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 9 p.m. on Friday, April 29th. The second, the main gala, will be held on Sunday, May 1st , from 9 a.m. to 4 p.m. On Saturday, we will be open until 6 p.m. On Sunday, around 1 p.m., I will be at Borsheims with a smile and a shoeshine, selling jewelry just as I sold men's shirts at J.C. Penney's 63 years ago. I've told Susan Jacques, Borsheims' CEO, that I'm still a hotshot salesman. But I see doubt in her eyes. So cut loose and buy something from me for your wife or sweetheart (presumably the same person). Make me look good.

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 25th through Saturday, May 7th. During that period, please identify yourself as a shareholder by presenting your meeting credentials or a brokerage statement that shows you are a Berkshire shareholder.

On Sunday, in the mall outside of Borsheims, a blindfolded Patrick Wolff, twice U.S. chess champion, will take on all comers – who will have their eyes wide open – in groups of six. Nearby, Norman Beck, a remarkable magician from Dallas, will bewilder onlookers. Additionally, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play bridge with our shareholders on Sunday afternoon.

Gorat's and Piccolo's will again be open exclusively for Berkshire shareholders on Sunday, May 1st. Both will be serving until 10 p.m., with Gorat's opening at 1 p.m. and Piccolo's opening at 4 p.m. These restaurants are my favorites and – still being a growing boy – I will eat at both of them on Sunday evening. Remember: To make a reservation at Gorat's, call 402-551-3733 on April 1st (*but not before*) and at Piccolo's call 402-342-9038.

We will again have the same three financial journalists lead the question-and-answer period, asking Charlie and me questions that shareholders have submitted to them by e-mail. The journalists and their e-mail addresses are: Carol Loomis, of Fortune, who may be emailed at cloomis@fortunemail.com; Becky Quick, of CNBC, at BerkshireQuestions@cnbc.com, and Andrew Ross Sorkin, of The New York Times, at arsorkin@nytimes.com.

From the questions submitted, each journalist will choose the dozen or so he or she decides are the most interesting and important. The journalists have told me your question has the best chance of being selected if you keep it concise, avoid sending it in at the last moment, make it Berkshire-related and include no more than two questions in any email you send them. (In your email, let the journalist know if you would like your name mentioned if your question is selected.)

Neither Charlie nor I will get so much as a clue about the questions to be asked. We know the journalists will pick some tough ones, and that's the way we like it.

We will again have a drawing at 8:15 a.m. on Saturday at each of 13 microphones for those shareholders wishing to ask questions themselves. At the meeting, I will alternate the questions asked by the journalists with those from the winning shareholders. We hope to answer at least 60 questions. From our standpoint, the more the better. Our goal, which we pursue both through these annual letters and by our meeting discussions, is to give you a better understanding of the business that *you* own.

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For good reason, I regularly extol the accomplishments of our operating managers. Equally important, however, are the 20 men and women who work with me at our corporate office (all on one floor, which is the way we intend to keep it!).

This group efficiently deals with a multitude of SEC and other regulatory requirements, files a 14,097-page Federal income tax return along with state and foreign returns, responds to countless shareholder and media inquiries, gets out the annual report, prepares for the country's largest annual meeting, coordinates the Board's activities – and the list goes on and on.

They handle all of these business tasks cheerfully and with unbelievable efficiency, making my life easy and joyful. Their efforts go beyond activities strictly related to Berkshire: They deal with 48 universities (selected from 200 applicants) who will send students to Omaha this school year for a day with me and also handle all kinds of requests that I receive, arrange my travel, and even get me hamburgers for lunch. No CEO has it better.

This home office crew has my deepest thanks and deserves yours as well. Come to our Woodstock for Capitalism on April 30th and tell them so.

February 26, 2011

Warren E. Buffett
Chairman of the Board

Memo

To: Berkshire Hathaway Managers ("The All-Stars")

cc: Berkshire Directors

From: Warren E. Buffett

Date: July 26, 2010

This is my biennial letter to reemphasize Berkshire's top priority and to get your help on succession planning (yours, not mine!).

The priority is that all of us continue to zealously guard Berkshire's reputation. We can't be perfect but we can try to be. As I've said in these memos for more than 25 years: "We can afford to lose money – even a lot of money. But we can't afford to lose reputation – even a shred of reputation." We *must* continue to measure every act against not only what is legal but also what we would be happy to have written about on the front page of a national newspaper in an article written by an unfriendly but intelligent reporter.

Sometimes your associates will say "Everybody else is doing it." This rationale is almost always a bad one if it is the main justification for a business action. It is totally unacceptable when evaluating a moral decision. Whenever somebody offers that phrase as a rationale, in effect they are saying that they can't come up with a *good* reason. If anyone gives this explanation, tell them to try using it with a reporter or a judge and see how far it gets them.

If you see anything whose propriety or legality causes you to hesitate, be sure to give me a call. However, it's very likely that if a given course of action evokes such hesitation, it's too close to the line and should be abandoned. There's plenty of money to be made in the center of the court. If it's questionable whether some action is close to the line, just assume it is outside and forget it.

As a corollary, let me know promptly if there's any significant bad news. I can handle bad news but I don't like to deal with it after it has festered for awhile. A reluctance to face up immediately to bad news is what turned a problem at Salomon from one that could have easily been disposed of into one that almost caused the demise of a firm with 8,000 employees.

Somebody is doing something today at Berkshire that you and I would be unhappy about if we knew of it. That's inevitable: We now employ more than 250,000 people and the chances of that number getting through the day without any bad behavior occurring is nil. But we can have a huge effect in minimizing such activities by jumping on anything immediately when there is the slightest odor of impropriety. Your attitude on such matters, expressed by behavior as well as words, will be the most important factor in how the culture of your business develops. Culture, more than rule books, determines how an organization behaves.

In other respects, talk to me about what is going on as little or as much as you wish. Each of you does a first-class job of running your operation with your own individual style and you don't need me to help. The only items you need to clear with me are any changes in post-retirement benefits and any unusually large capital expenditures or acquisitions.

* * * * * * * * * * * *

I need your help in respect to the question of succession. I'm not looking for any of you to retire and I hope you all live to 100. (In Charlie's case, 110.) But just in case you don't, please send me a letter (at home if you wish) giving your recommendation as who should take over tomorrow if you should become incapacitated overnight. These letters will be seen by no one but me unless I'm no longer CEO, in which case my successor will need the information. Please summarize the strengths and weaknesses of your primary candidate as well as any possible alternates you may wish to include. Most of you have participated in this exercise in the past and others have offered your ideas verbally. However, it's important to me to get a periodic update, and now that we have added so many businesses, I need to have your thoughts in writing rather than trying to carry them around in my memory. Of course, there are a few operations that are run by two or more of you – such as the Blumkins, the Merschmans, the pair at Applied Underwriters, etc. – and in these cases, just forget about this item. Your note can be short, informal, handwritten, etc. Just mark it "Personal for Warren."

Thanks for your help on all of this. And thanks for the way you run your businesses. You make my job easy.

WEB/db

P.S. Another minor request: Please turn down all proposals for me to speak, make contributions, intercede with the Gates Foundation, etc. Sometimes these requests for you to act as intermediary will be accompanied by "It can't hurt to ask." It will be easier for both of us if you just say "no." As an added favor, don't suggest that they instead write or call me. Multiply 76 businesses by the periodic "I think he'll be interested in this one" and you can understand why it is better to say no firmly and immediately.

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	.7
1998	48.3	28.6	19.7
1999	.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
2004	10.5	10.9	(.4)
2005	6.4	4.9	1.5
2006	18.4	15.8	2.6
2007	11.0	5.5	5.5
2008	(9.6)	(37.0)	27.4
2009	19.8	26.5	(6.7)
2010	13.0	15.1	(2.1)
2011	4.6	2.1	2.5
Compounded Annual Gain – 1965-2011	19.8%	9.2%	10.6
Overall Gain – 1964-2011	513,055%	6,397%	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31. Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported. The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

The per-share book value of both our Class A and Class B stock increased by 4.6% in 2011. Over the last 47 years (that is, since present management took over), book value has grown from $19 to $99,860, a rate of 19.8% compounded annually.*

Charlie Munger, Berkshire's Vice Chairman and my partner, and I feel good about the company's progress during 2011. Here are the highlights:

- The primary job of a Board of Directors is to see that the right people are running the business and to be sure that the next generation of leaders is identified and ready to take over *tomorrow*. I have been on 19 corporate boards, and Berkshire's directors are at the top of the list in the time and diligence they have devoted to succession planning. What's more, their efforts have paid off.

  As 2011 started, Todd Combs joined us as an investment manager, and shortly after yearend Ted Weschler came aboard. Both of these men have outstanding investment skills and a deep commitment to Berkshire. Each will be handling a few billion dollars in 2012, but they have the brains, judgment and character to manage our entire portfolio when Charlie and I are no longer running Berkshire.

  Your Board is equally enthusiastic about my successor as CEO, an individual to whom they have had a great deal of exposure and whose managerial and human qualities they admire. (We have two superb back-up candidates as well.) When a transfer of responsibility is required, it will be seamless, and Berkshire's prospects will remain bright. More than 98% of my net worth is in Berkshire stock, all of which will go to various philanthropies. Being so heavily concentrated in one stock defies conventional wisdom. But I'm fine with this arrangement, knowing both the quality and diversity of the businesses we own and the caliber of the people who manage them. With these assets, my successor will enjoy a running start. Do not, however, infer from this discussion that Charlie and I are going anywhere; we continue to be in excellent health, and we love what we do.

- On September 16th we acquired Lubrizol, a worldwide producer of additives and other specialty chemicals. The company has had an outstanding record since James Hambrick became CEO in 2004, with pre-tax profits increasing from $147 million to $1,085 million. Lubrizol will have many opportunities for "bolt-on" acquisitions in the specialty chemical field. Indeed, we've already agreed to three, costing $493 million. James is a disciplined buyer and a superb operator. Charlie and I are eager to expand his managerial domain.

- Our major businesses did well last year. In fact, *each* of our five largest non-insurance companies – BNSF, Iscar, Lubrizol, Marmon Group and MidAmerican Energy – delivered record operating earnings. In aggregate these businesses earned more than $9 billion pre-tax in 2011. Contrast that to seven years ago, when we owned only one of the five, MidAmerican, whose pre-tax earnings were $393 million. Unless the economy weakens in 2012, *each* of our fabulous five should again set a record, with aggregate earnings comfortably topping $10 billion.

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* All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/1500th of those shown for A.

- In total, our entire string of operating companies spent $8.2 billion for property, plant and equipment in 2011, smashing our previous record by more than $2 billion. About 95% of these outlays were made in the U.S., a fact that may surprise those who believe our country lacks investment opportunities. We welcome projects abroad, but expect the overwhelming majority of Berkshire's future capital commitments to be in America. In 2012, these expenditures will again set a record.

- Our insurance operations continued their delivery of costless capital that funds a myriad of other opportunities. This business produces "float" – money that doesn't belong to us, but that we get to invest for Berkshire's benefit. And if we pay out less in losses and expenses than we receive in premiums, we additionally earn an underwriting profit, meaning the float costs us less than nothing. Though we are sure to have underwriting losses from time to time, we've now had nine consecutive years of underwriting profits, totaling about $17 billion. Over the same nine years our float increased from $41 billion to its current record of $70 billion. Insurance has been good to us.

- Finally, we made two major investments in marketable securities: (1) a $5 billion 6% preferred stock of Bank of America that came with warrants allowing us to buy 700 million common shares at $7.14 per share any time before September 2, 2021; and (2) 63.9 million shares of IBM that cost us $10.9 billion. Counting IBM, we now have large ownership interests in four exceptional companies: 13.0% of American Express, 8.8% of Coca-Cola, 5.5% of IBM and 7.6% of Wells Fargo. (We also, of course, have many smaller, but important, positions.)

  We view these holdings as partnership interests in wonderful businesses, not as marketable securities to be bought or sold based on their near-term prospects. Our share of *their* earnings, however, are far from fully reflected in *our* earnings; only the dividends we receive from these businesses show up in our financial reports. Over time, though, the undistributed earnings of these companies that are attributable to our ownership are of huge importance to us. That's because they will be used in a variety of ways to increase future earnings and dividends of the investee. They may also be devoted to stock repurchases, which will increase our share of the company's future earnings.

  Had we owned our present positions throughout last year, our dividends from the "Big Four" would have been $862 million. That's all that would have been reported in Berkshire's income statement. Our share of this quartet's earnings, however, would have been far greater: $3.3 billion. Charlie and I believe that the $2.4 billion that goes unreported on our books creates at least that amount of value for Berkshire as it fuels earnings gains in future years. We expect the combined earnings of the four – and their dividends as well – to increase in 2012 and, for that matter, almost every year for a long time to come. A decade from now, our current holdings of the four companies might well account for earnings of $7 billion, of which $2 billion in dividends would come to us.

  I've run out of good news. Here are some developments that hurt us during 2011:

- A few years back, I spent about $2 billion buying several bond issues of Energy Future Holdings, an electric utility operation serving portions of Texas. That was a mistake – a *big* mistake. In large measure, the company's prospects were tied to the price of natural gas, which tanked shortly after our purchase and remains depressed. Though we have annually received interest payments of about $102 million since our purchase, the company's ability to pay will soon be exhausted unless gas prices rise substantially. We wrote down our investment by $1 billion in 2010 and by an additional $390 million last year.

  At yearend, we carried the bonds at their market value of $878 million. If gas prices remain at present levels, we will likely face a further loss, perhaps in an amount that will virtually wipe out our current carrying value. Conversely, a substantial increase in gas prices might allow us to recoup some, or even all, of our write-down. However things turn out, I totally miscalculated the gain/loss probabilities when I purchased the bonds. In tennis parlance, this was a major unforced error by your chairman.

- Three large and very attractive fixed-income investments were called away from us by their issuers in 2011. Swiss Re, Goldman Sachs and General Electric paid us an aggregate of $12.8 billion to redeem securities that were producing about $1.2 billion of pre-tax earnings for Berkshire. That's a lot of income to replace, though our Lubrizol purchase did offset most of it.

- Last year, I told you that "a housing recovery will probably begin within a year or so." I was dead wrong. We have five businesses whose results are significantly influenced by housing activity. The connection is direct at Clayton Homes, which is the largest producer of homes in the country, accounting for about 7% of those constructed during 2011.

  Additionally, Acme Brick, Shaw (carpet), Johns Manville (insulation) and MiTek (building products, primarily connector plates used in roofing) are all materially affected by construction activity. In aggregate, our five housing-related companies had pre-tax profits of $513 million in 2011. That's similar to 2010 but down from $1.8 billion in 2006.

  Housing will come back – you can be sure of that. Over time, the number of housing units necessarily matches the number of households (after allowing for a normal level of vacancies). For a period of years prior to 2008, however, America added more housing units than households. Inevitably, we ended up with far too many units and the bubble popped with a violence that shook the entire economy. That created still another problem for housing: Early in a recession, household formations slow, and in 2009 the decrease was dramatic.

  That devastating supply/demand equation is now reversed: Every day we are creating more households than housing units. People may postpone hitching up during uncertain times, but eventually hormones take over. And while "doubling-up" may be the initial reaction of some during a recession, living with in-laws can quickly lose its allure.

  At our current annual pace of 600,000 housing starts – considerably less than the number of new households being formed – buyers and renters are sopping up what's left of the old oversupply. (This process will run its course at different rates around the country; the supply-demand situation varies widely by locale.) While this healing takes place, however, our housing-related companies sputter, employing only 43,315 people compared to 58,769 in 2006. This hugely important sector of the economy, which includes not only construction but everything that feeds off of it, remains in a *depression* of its own. I believe this is the major reason a recovery in employment has so severely lagged the steady and substantial comeback we have seen in almost all other sectors of our economy.

  Wise monetary and fiscal policies play an important role in tempering recessions, but these tools don't create households nor eliminate excess housing units. Fortunately, demographics and our market system will restore the needed balance – probably before long. When that day comes, we will again build one million or more residential units annually. I believe pundits will be surprised at how far unemployment drops once that happens. They will then reawake to what has been true since 1776: America's best days lie ahead.

Intrinsic Business Value

Charlie and I measure our performance by the rate of gain in Berkshire's per-share intrinsic business value. If our gain over time outstrips the performance of the S&P 500, we have earned our paychecks. If it doesn't, we are overpaid at any price.

We have no way to pinpoint intrinsic value. But we do have a useful, *though considerably understated*, proxy for it: per-share book value. This yardstick is meaningless at most companies. At Berkshire, however, book value very roughly tracks business values. That's because the amount by which Berkshire's intrinsic value exceeds book value does not swing wildly from year to year, though it increases in most years. Over time, the divergence will likely become ever more substantial in absolute terms, remaining reasonably steady, however, on a percentage basis as both the numerator and denominator of the business-value/book-value equation increase.

We've regularly emphasized that our book-value performance is almost certain to outpace the S&P 500 in a bad year for the stock market and just as certainly will fall short in a strong up-year. The test is how we do over time. Last year's annual report included a table laying out results for the 42 five-year periods since we took over at Berkshire in 1965 (i.e., 1965-69, 1966-70, etc.). All showed our book value beating the S&P, and our string held for 2007-11. It will almost certainly snap, though, if the S&P 500 should put together a five-year winning streak (which it may well be on its way to doing as I write this).

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I also included two tables last year that set forth the key quantitative ingredients that will help you estimate our per-share intrinsic value. I won't repeat the full discussion here; you can find it reproduced on pages 99-100. To update the tables shown there, our per-share investments in 2011 increased 4% to $98,366, and our pre-tax earnings from businesses other than insurance and investments increased 18% to $6,990 per share.

Charlie and I like to see gains in both areas, but our primary focus is on building operating earnings. Over time, the businesses we currently own should increase their aggregate earnings, and we hope also to purchase some large operations that will give us a further boost. We now have eight subsidiaries that would each be included in the Fortune 500 were they stand-alone companies. That leaves only 492 to go. My task is clear, and I'm on the prowl.

Share Repurchases

Last September, we announced that Berkshire would repurchase its shares at a price of up to 110% of book value. We were in the market for only a few days – buying $67 million of stock – before the price advanced beyond our limit. Nonetheless, the general importance of share repurchases suggests I should focus for a bit on the subject.

Charlie and I favor repurchases when two conditions are met: first, a company has ample funds to take care of the operational and liquidity needs of its business; second, its stock is selling at a material discount to the company's intrinsic business value, conservatively calculated.

We have witnessed many bouts of repurchasing that failed our second test. Sometimes, of course, infractions – even serious ones – are innocent; many CEOs never stop believing their stock is cheap. In other instances, a less benign conclusion seems warranted. It doesn't suffice to say that repurchases are being made to offset the dilution from stock issuances or simply because a company has excess cash. Continuing shareholders are *hurt* unless shares are purchased below intrinsic value. The first law of capital allocation – whether the money is slated for acquisitions or share repurchases – is that what is smart at one price is dumb at another. (One CEO who always stresses the price/value factor in repurchase decisions is Jamie Dimon at J.P. Morgan; I recommend that you read his annual letter.)

Charlie and I have mixed emotions when Berkshire shares sell well below intrinsic value. We like making money for continuing shareholders, and there is no surer way to do that than by buying an asset – our own stock – that we know to be worth *at least* x for less than that – for .9x, .8x or even lower. (As one of our directors says, it's like shooting fish in a barrel, *after* the barrel has been drained and the fish have quit flopping.) Nevertheless, we don't enjoy cashing out partners at a discount, even though our doing so may give the selling shareholders a slightly higher price than they would receive if our bid was absent. When we are buying, therefore, we want those exiting partners to be fully informed about the value of the assets they are selling.

At our limit price of 110% of book value, repurchases clearly increase Berkshire's per-share intrinsic value. And the more and the cheaper we buy, the greater the gain for continuing shareholders. Therefore, if given the opportunity, we will likely repurchase stock aggressively at our price limit or lower. You should know, however, that we have no interest in supporting the stock and that our bids will fade in particularly weak markets. Nor will we buy shares if our cash-equivalent holdings are below $20 billion. At Berkshire, financial strength that is unquestionable takes precedence over all else.

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This discussion of repurchases offers me the chance to address the irrational reaction of many investors to changes in stock prices. When Berkshire buys stock in a company that is repurchasing shares, we hope for two events: First, we have the normal hope that earnings of the business will increase at a good clip for a long time to come; and second, we also hope that the stock *underperforms* in the market for a long time as well. A corollary to this second point: "Talking our book" about a stock we own – were that to be effective – would actually be harmful to Berkshire, not helpful as commentators customarily assume.

Let's use IBM as an example. As all business observers know, CEOs Lou Gerstner and Sam Palmisano did a superb job in moving IBM from near-bankruptcy twenty years ago to its prominence today. Their operational accomplishments were truly extraordinary.

But their financial management was equally brilliant, particularly in recent years as the company's financial flexibility improved. Indeed, I can think of no major company that has had better financial management, a skill that has materially increased the gains enjoyed by IBM shareholders. The company has used debt wisely, made value-adding acquisitions almost exclusively for cash and aggressively repurchased its own stock.

Today, IBM has 1.16 billion shares outstanding, of which we own about 63.9 million or 5.5%. Naturally, what happens to the company's earnings over the next five years is of enormous importance to us. Beyond that, the company will likely spend $50 billion or so in those years to repurchase shares. Our quiz for the day: What should a long-term shareholder, such as Berkshire, cheer for during that period?

I won't keep you in suspense. We should wish for IBM's stock price to *languish* throughout the five years.

Let's do the math. If IBM's stock price averages, say, $200 during the period, the company will acquire 250 million shares for its $50 billion. There would consequently be 910 million shares outstanding, and we would own about 7% of the company. If the stock conversely sells for an average of $300 during the five-year period, IBM will acquire only 167 million shares. That would leave about 990 million shares outstanding after five years, of which we would own 6.5%.

If IBM were to earn, say, $20 billion in the fifth year, our share of those earnings would be a full $100 million greater under the "disappointing" scenario of a lower stock price than they would have been at the higher price. At some later point our shares would be worth perhaps $1½ billion more than if the "high-price" repurchase scenario had taken place.

The logic is simple: If you are going to be a net buyer of stocks in the future, either directly with your own money or indirectly (through your ownership of a company that is repurchasing shares), you are *hurt* when stocks rise. You benefit when stocks swoon. *Emotions*, however, too often complicate the matter: Most people, including those who will be net buyers in the future, take comfort in seeing stock prices advance. These shareholders resemble a commuter who rejoices after the price of gas increases, simply because his tank contains a day's supply.

Charlie and I don't expect to win many of you over to our way of thinking – we've observed enough human behavior to know the futility of that – but we do want you to be aware of our personal calculus. And here a confession is in order: In my early days I, too, rejoiced when the market rose. Then I read Chapter Eight of Ben Graham's *The Intelligent Investor*, the chapter dealing with how investors should view fluctuations in stock prices. Immediately the scales fell from my eyes, and low prices became my friend. Picking up that book was one of the luckiest moments in my life.

In the end, the success of our IBM investment will be determined primarily by its future earnings. But an important secondary factor will be how many shares the company purchases with the substantial sums it is likely to devote to this activity. And if repurchases ever reduce the IBM shares outstanding to 63.9 million, I will abandon my famed frugality and give Berkshire employees a paid holiday.

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Now, let's examine the four major sectors of our operations. Each has vastly different balance sheet and income characteristics from the others. Lumping them together therefore impedes analysis. So we'll present them as four separate businesses, which is how Charlie and I view them. Because we may be repurchasing Berkshire shares from some of you, we will offer our thoughts in each section as to how intrinsic value compares to carrying value.

Insurance

Let's look first at insurance, Berkshire's core operation and the engine that has propelled our expansion over the years.

Property-casualty ("P/C") insurers receive premiums upfront and pay claims later. In extreme cases, such as those arising from certain workers' compensation accidents, payments can stretch over decades. This collect-now, pay-later model leaves us holding large sums – money we call "float" – that will eventually go to others. Meanwhile, we get to invest this float for Berkshire's benefit. Though individual policies and claims come and go, the amount of float we hold remains remarkably stable in relation to premium volume. Consequently, as our business grows, so does our float. And how we have grown, as the following table shows:

Year	*Float (in $ millions)*
1970	$ 39
1980	237
1990	1,632
2000	27,871
2010	65,832
2011	70,571

It's unlikely that our float will grow much – if at all – from its current level. That's mainly because we already have an outsized amount relative to our premium volume. Were there to be a *decline* in float, I will add, it would almost certainly be *very* gradual and therefore impose no unusual demand for funds on us.

If our premiums exceed the total of our expenses and eventual losses, we register an underwriting profit that adds to the investment income our float produces. When such a profit occurs, we enjoy the use of free money – and, better yet, get *paid* for holding it. Unfortunately, the wish of all insurers to achieve this happy result creates intense competition, so vigorous in most years that it causes the P/C industry as a whole to operate at a significant underwriting *loss*. For example, State Farm, by far the country's largest insurer and a well-managed company besides, has incurred an underwriting loss in eight of the last eleven years. There are a lot of ways to lose money in insurance, and the industry is resourceful in creating new ones.

As noted in the first section of this report, we have now operated at an underwriting profit for nine consecutive years, our gain for the period having totaled $17 billion. I believe it likely that we will continue to underwrite profitably in most – though certainly not all – future years. If we accomplish that, our float will be better than cost-free. We will profit just as we would if some party deposited $70.6 billion with us, paid us a fee for holding its money and then let us invest its funds for our own benefit.

So how does this attractive float affect intrinsic value calculations? Our float is deducted *in full* as a liability in calculating Berkshire's book value, just as if we had to pay it out tomorrow and were unable to replenish it. But that's an incorrect way to view float, which should instead be viewed as a revolving fund. If float is both costless and long-enduring, the true value of this liability is *far* lower than the accounting liability.

Partially offsetting this overstated liability is $15.5 billion of "goodwill" attributable to our insurance companies that is included in book value as an asset. In effect, this goodwill represents the price we paid for the float-generating capabilities of our insurance operations. The cost of the goodwill, however, has *no* bearing on its true value. If an insurance business produces large and sustained underwriting losses, any goodwill asset attributable to it should be deemed valueless, whatever its original cost.

Fortunately, that's not the case at Berkshire. Charlie and I believe the true economic value of our insurance goodwill – what *we* would pay to purchase float *of similar quality* – to be far in excess of its historic carrying value. The value of our float is one reason – a huge reason – why we believe Berkshire's intrinsic business value substantially exceeds book value.

Let me emphasize once again that cost-free float is *not* an outcome to be expected for the P/C industry as a whole: We don't think there is much "Berkshire-quality" float existing in the insurance world. In most years, including 2011, the industry's premiums have been inadequate to cover claims plus expenses. Consequently, the

industry's overall return on tangible equity has for many decades fallen far short of the average return realized by American industry, a sorry performance almost certain to continue. Berkshire's outstanding economics exist only because we have some terrific managers running some extraordinary insurance operations. Let me tell you about the major units.

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First by float size is the Berkshire Hathaway Reinsurance Group, run by Ajit Jain. Ajit insures risks that no one else has the desire or the capital to take on. His operation combines capacity, speed, decisiveness and, most importantly, brains in a manner that is unique in the insurance business. Yet he never exposes Berkshire to risks that are inappropriate in relation to our resources. Indeed, we are *far* more conservative in that respect than most large insurers. For example, if the insurance industry should experience a $250 billion loss from some mega-catastrophe – a loss about triple anything it has ever faced – Berkshire as a whole would likely record a moderate profit for the year because of its many streams of earnings. Concurrently, all other major insurers and reinsurers would be far in the red, and some would face insolvency.

From a standing start in 1985, Ajit has created an insurance business with float of $34 billion and significant underwriting profits, a feat that no CEO of any other insurer has come close to matching. By these accomplishments, he has added a great many billions of dollars to the value of Berkshire. Charlie would gladly trade me for a second Ajit. Alas, there is none.

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We have another insurance powerhouse in General Re, managed by Tad Montross.

At bottom, a sound insurance operation needs to adhere to four disciplines. It must (1) understand *all* exposures that might cause a policy to incur losses; (2) conservatively evaluate the likelihood of any exposure actually causing a loss and the probable cost if it does; (3) set a premium that will deliver a profit, on average, after both prospective loss costs and operating expenses are covered; and (4) be willing to walk away if the appropriate premium can't be obtained.

Many insurers pass the first three tests and flunk the fourth. They simply can't turn their back on business that their competitors are eagerly writing. That old line, "The other guy is doing it so we must as well," spells trouble in any business, but in none more so than insurance. Indeed, a good underwriter needs an independent mindset akin to that of the senior citizen who received a call from his wife while driving home. "Albert, be careful," she warned, "I just heard on the radio that there's a car going the wrong way down the Interstate." "Mabel, they don't know the half of it," replied Albert, "It's not just one car, there are hundreds of them."

Tad has observed all four of the insurance commandments, and it shows in his results. General Re's huge float has been better than cost-free under his leadership, and we expect that, on average, it will continue to be. In the first few years after we acquired it, General Re was a major headache. Now it's a treasure.

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Finally, there is GEICO, the insurer on which I cut my teeth 61 years ago. GEICO is run by Tony Nicely, who joined the company at 18 and completed 50 years of service in 2011.

GEICO's much-envied record comes from Tony's brilliant execution of a superb and almost-impossible-to-replicate business model. During Tony's 18-year tenure as CEO, our market share has grown from 2.0% to 9.3%. If it had instead remained static – as it had for more than a decade before he took over – our premium volume would now be $3.3 billion rather than the $15.4 billion we attained in 2011. The extra value created by Tony and his associates is a major element in Berkshire's excess of intrinsic value over book value.

There is still more than 90% of the auto-insurance market left for GEICO to rake in. Don't bet against Tony acquiring chunks of it year after year in the future. Our low costs permit low prices, and every day more Americans discover that the Gecko is doing them a favor when he urges them to visit GEICO.com for a quote. (Our lizard has another endearing quality: Unlike human spokesmen or spokeswomen who expensively represent other insurance companies, our little fellow has no agent.)

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In addition to our three major insurance operations, we own a group of smaller companies, most of them plying their trade in odd corners of the insurance world. In aggregate, their results have consistently been profitable and the float they provide us is substantial. Charlie and I treasure these companies and their managers.

At yearend, we acquired Princeton Insurance, a New Jersey writer of medical malpractice policies. This bolt-on transaction expands the managerial domain of Tim Kenesey, the star CEO of Medical Protective, our Indiana-based med-mal insurer. Princeton brings with it more than $600 million of float, an amount that is included in the following table.

Here is the record of all four segments of our property-casualty and life insurance businesses:

	Underwriting Profit		*Yearend Float*	
		(in millions)		
Insurance Operations	*2011*	*2010*	*2011*	*2010*
BH Reinsurance	$(714)	$ 176	$33,728	$30,370
General Re	144	452	19,714	20,049
GEICO	576	1,117	11,169	10,272
Other Primary	242	268	5,960	5,141
	$ 248	$2,013	$70,571	$65,832

Among large insurance operations, Berkshire's impresses me as the best in the world.

Regulated, Capital-Intensive Businesses

We have two very large businesses, BNSF and MidAmerican Energy, that have important common characteristics distinguishing them from our many other businesses. Consequently, we assign them their own sector in this letter and also split out their combined financial statistics in our GAAP balance sheet and income statement.

A key characteristic of both companies is the huge investment they have in very long-lived, regulated assets, with these partially funded by large amounts of long-term debt that is *not* guaranteed by Berkshire. Our credit is not needed: Both businesses have earning power that even under terrible business conditions amply covers their interest requirements. In a less than robust economy during 2011, for example, BNSF's interest coverage was 9.5x. At MidAmerican, meanwhile, two key factors ensure its ability to service debt under all circumstances: The stability of earnings that is inherent in our exclusively offering an essential service and a diversity of earnings streams, which shield it from the actions of any single regulatory body.

Measured by ton-miles, rail moves 42% of America's inter-city freight, and BNSF moves more than any other railroad – about 37% of the industry total. A little math will tell you that about 15% of *all* inter-city ton-miles of freight in the U.S. is transported by BNSF. It is no exaggeration to characterize railroads as the circulatory system of our economy. Your railroad is the largest artery.

All of this places a huge responsibility on us. We must, without fail, maintain and improve our 23,000 miles of track along with 13,000 bridges, 80 tunnels, 6,900 locomotives and 78,600 freight cars. This job requires us to have ample financial resources under *all* economic scenarios and to have the human talent that can instantly and effectively deal with the vicissitudes of nature, such as the widespread flooding BNSF labored under last summer.

To fulfill its societal obligation, BNSF regularly invests far more than its depreciation charge, with the excess amounting to $1.8 billion in 2011. The three other major U.S. railroads are making similar outlays. Though many people decry our country's inadequate infrastructure spending, that criticism cannot be levied against the railroad industry. It is pouring money – *funds from the private sector* – into the investment projects needed to provide better and more extensive service in the future. If railroads were not making these huge expenditures, our country's publicly-financed highway system would face even greater congestion and maintenance problems than exist today.

Massive investments of the sort that BNSF is making would be foolish if it could not earn appropriate returns on the incremental sums it commits. But I am confident it will do so because of the value it delivers. Many years ago Ben Franklin counseled, "Keep thy shop, and thy shop will keep thee." Translating this to our regulated businesses, he might today say, "Take care of your customer, and the regulator – your customer's representative – will take care of you." Good behavior by each party begets good behavior in return.

At MidAmerican, we participate in a similar "social compact." We are expected to put up ever-increasing sums to satisfy the future needs of our customers. If we meanwhile operate reliably and efficiently, we know that we will obtain a fair return on these investments.

MidAmerican, 89.8% owned by Berkshire, supplies 2.5 million customers in the U.S. with electricity, operating as the largest supplier in Iowa, Utah and Wyoming and as an important provider in six other states as well. Our pipelines transport 8% of the country's natural gas. Obviously, many millions of Americans depend on us every day. They haven't been disappointed.

When MidAmerican purchased Northern Natural Gas pipeline in 2002, that company's performance as a pipeline was rated dead last, 43 out of 43, by the leading authority in the field. In the most recent report, Northern Natural was ranked second. The top spot was held by our other pipeline, Kern River.

In its electric business, MidAmerican has a comparable record. In the most recent survey of customer satisfaction, MidAmerican's U.S. utilities ranked second among 60 utility groups surveyed. The story was far different not many years back when MidAmerican acquired these properties.

MidAmerican will have 3,316 megawatts of wind generation in operation by the end of 2012, far more than any other regulated electric utility in the country. The total amount that we have invested or committed to wind is a staggering $6 billion. We can make this sort of investment because MidAmerican retains *all* of its earnings, unlike other utilities that generally pay out most of what they earn. In addition, late last year we took on two solar projects – one 100%-owned in California and the other 49%-owned in Arizona – that will cost about $3 billion to construct. Many more wind and solar projects will almost certainly follow.

As you can tell by now, I am proud of what has been accomplished for our society by Matt Rose at BNSF and by Greg Abel at MidAmerican. I am also both proud and grateful for what they have accomplished for Berkshire shareholders. Below are the relevant figures:

MidAmerican	*Earnings (in millions)*	
	2011	*2010*
U.K. utilities	$ 469	$ 333
Iowa utility	279	279
Western utilities	771	783
Pipelines	388	378
HomeServices	39	42
Other (net)	36	47
Operating earnings before corporate interest and taxes	1,982	1,862
Interest, other than to Berkshire	(323)	(323)
Interest on Berkshire junior debt	(13)	(30)
Income tax	(315)	(271)
Net earnings	$1,331	$1,238
Earnings applicable to Berkshire*	$1,204	$1,131

*Includes interest earned by Berkshire (net of related income taxes) of $8 in 2011 and $19 in 2010.

BNSF *(Historical accounting through 2/12/10; purchase accounting subsequently)*	*(in millions)*	
	2011	*2010*
Revenues	$19,548	$16,850
Operating earnings	5,310	4,495
Interest (Net)	560	507
Pre-Tax earnings	4,741	3,988
Net earnings	2,972	2,459

In the book value recorded on our balance sheet, BNSF and MidAmerican carry substantial goodwill components totaling $20 billion. In each instance, however, Charlie and I believe current intrinsic value is far greater than book value.

Manufacturing, Service and Retailing Operations

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/11 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 4,241	Notes payable	$ 1,611
Accounts and notes receivable	6,584	Other current liabilities	15,124
Inventory	8,975	Total current liabilities	16,735
Other current assets	631		
Total current assets	20,431		
		Deferred taxes	4,661
Goodwill and other intangibles	24,755	Term debt and other liabilities	6,214
Fixed assets	17,866	Non-controlling interests	2,410
Other assets	3,661	Berkshire equity	36,693
	$66,713		$66,713

Earnings Statement (in millions)

	*2011***	*2010*	*2009*
Revenues	$72,406	$66,610	$61,665
Operating expenses (including depreciation of $1,431 in 2011, $1,362 in 2010 and $1,422 in 2009)	67,239	62,225	59,509
Interest expense	130	111	98
Pre-tax earnings	5,037*	4,274*	2,058*
Income taxes and non-controlling interests	1,998	1,812	945
Net earnings	$ 3,039	$ 2,462	$ 1,113

*Does not include purchase-accounting adjustments.
**Includes earnings of Lubrizol from September 16.

This group of companies sells products ranging from lollipops to jet airplanes. Some of the businesses enjoy terrific economics, measured by earnings on unleveraged net *tangible* assets that run from 25% after-tax to more than 100%. Others produce good returns in the area of 12-20%. A few, however, have very poor returns, a result of some serious mistakes I made in my job of capital allocation. These errors came about because I misjudged either the competitive strength of the business being purchased or the future economics of the industry in which it operated. I try to look out ten or twenty years when making an acquisition, but sometimes my eyesight has been poor. Charlie's has been better; he voted no more than "present" on several of my errant purchases.

Berkshire's newer shareholders may be puzzled over our decision to hold on to my mistakes. After all, their earnings can never be consequential to Berkshire's valuation, and problem companies require more managerial time than winners. Any management consultant or Wall Street advisor would look at our laggards and say "dump them."

That won't happen. For 29 years, we have regularly laid out Berkshire's economic principles in these reports (pages 93-98) and Number 11 describes our general reluctance to sell poor performers (which, in most cases, lag because of industry factors rather than managerial shortcomings). Our approach is far from Darwinian, and many of you may disapprove of it. I can understand your position. However, we have made – and continue to make – a commitment to the sellers of businesses we buy that we will retain those businesses through thick and thin. So far, the dollar cost of that commitment has not been substantial and may well be offset by the goodwill it builds among prospective sellers looking for the right permanent home for their treasured business and loyal associates. These owners know that what they get with us can't be delivered by others and that our commitments will be good for many decades to come.

Please understand, however, that Charlie and I are neither masochists nor Pollyannas. If either of the failings we set forth in Rule 11 is present – if the business will likely be a cash drain over the longer term, or if labor strife is endemic – we will take prompt and decisive action. Such a situation has happened only a couple of times in our 47-year history, and none of the businesses we now own is in straits requiring us to consider disposing of it.

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The steady and substantial comeback in the U.S. economy since mid-2009 is clear from the earnings shown at the front of this section. This compilation includes 54 of our companies. But one of these, Marmon, is itself the owner of 140 operations in eleven distinct business sectors. In short, when you look at Berkshire, you are looking across corporate America. So let's dig a little deeper to gain a greater insight into what has happened in the last few years.

The four housing-related companies in this section (a group that excludes Clayton, which is carried under Finance and Financial Products) had aggregate pre-tax earnings of $227 million in 2009, $362 million in 2010 and $359 million in 2011. If you subtract these earnings from those in the combined statement, you will see that our multiple and diverse *non-housing* operations earned $1,831 million in 2009, $3,912 million in 2010 and $4,678 million in 2011. About $291 million of the 2011 earnings came from the Lubrizol acquisition. The profile of the remaining 2011 earnings – $4,387 million – illustrates the comeback of much of America from the devastation wrought by the 2008 financial panic. Though housing-related businesses remain in the emergency room, most other businesses have left the hospital with their health fully restored.

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Almost all of our managers delivered outstanding performances last year, among them those managers who run housing-related businesses and were therefore fighting hurricane-force headwinds. Here are a few examples:

- Vic Mancinelli again set a record at CTB, our agricultural equipment operation. We purchased CTB in 2002 for $139 million. It has subsequently distributed $180 million to Berkshire, last year earned $124 million pre-tax and has $109 million in cash. Vic has made a number of bolt-on acquisitions over the years, including a meaningful one he signed up after yearend.

- TTI, our electric components distributor, increased its sales to a record $2.1 billion, up 12.4% from 2010. Earnings also hit a record, up 127% from 2007, the year in which we purchased the business. In 2011, TTI performed far better than the large publicly-traded companies in its field. That's no surprise: Paul Andrews and his associates have been besting them for years. Charlie and I are delighted that Paul negotiated a large bolt-on acquisition early in 2012. We hope more follow.

- Iscar, our 80%-owned cutting-tools operation, continues to amaze us. Its sales growth and overall performance are unique in its industry. Iscar's managers – Eitan Wertheimer, Jacob Harpaz and Danny Goldman – are brilliant strategists and operators. When the economic world was cratering in November 2008, they stepped up to buy Tungaloy, a leading Japanese cutting-tool manufacturer. Tungaloy suffered significant damage when the tsunami hit north of Tokyo last spring. But you wouldn't know that now: Tungaloy went on to set a sales record in 2011. I visited the Iwaki plant in November and was inspired by the dedication and enthusiasm of Tungaloy's management, as well as its staff. They are a wonderful group and deserve your admiration and thanks.

- McLane, our huge distribution company that is run by Grady Rosier, added important new customers in 2011 and set a pre-tax earnings record of $370 million. Since its purchase in 2003 for $1.5 billion, the company has had pre-tax earnings of $2.4 billion and also increased its LIFO reserve by $230 million because the prices of the retail products it distributes (candy, gum, cigarettes, etc.) have risen. Grady runs a logistical machine second to none. You can look for bolt-ons at McLane, particularly in our new wine-and-spirits distribution business.

- Jordan Hansell took over at NetJets in April and delivered 2011 pre-tax earnings of $227 million. That is a particularly impressive performance because the sale of new planes was slow during most of the year. In December, however, there was an uptick that was more than seasonally normal. How permanent it will be is uncertain.

  A few years ago NetJets was my number one worry: Its costs were far out of line with revenues, and cash was hemorrhaging. Without Berkshire's support, NetJets would have gone broke. These problems are behind us, and Jordan is now delivering steady profits from a well-controlled and smoothly-running operation. NetJets is proceeding on a plan to enter China with some first-class partners, a move that will widen our business "moat." No other fractional-ownership operator has remotely the size and breadth of the NetJets operation, and none ever will. NetJets' unrelenting focus on safety and service has paid off in the marketplace.

- It's a joy to watch Marmon's progress under Frank Ptak's leadership. In addition to achieving internal growth, Frank regularly makes bolt-on acquisitions that, in aggregate, will materially increase Marmon's earning power. (He did three, costing about $270 million, in the last few months.) Joint ventures around the world are another opportunity for Marmon. At midyear Marmon partnered with the Kundalia family in an Indian crane operation that is already delivering substantial profits. This is Marmon's second venture with the family, following a successful wire and cable partnership instituted a few years ago.

  Of the eleven major sectors in which Marmon operates, ten delivered gains in earnings last year. You can be confident of higher earnings from Marmon in the years ahead.

- "Buy commodities, sell brands" has long been a formula for business success. It has produced enormous and sustained profits for Coca-Cola since 1886 and Wrigley since 1891. On a smaller scale, we have enjoyed good fortune with this approach at See's Candy since we purchased it 40 years ago.

  Last year See's had record pre-tax earnings of $83 million, bringing its total since we bought it to $1.65 billion. Contrast that figure with our purchase price of $25 million and our yearend carrying-value (net of cash) of less than zero. (Yes, you read that right; capital employed at See's fluctuates seasonally, hitting a low after Christmas.) Credit Brad Kinstler for taking the company to new heights since he became CEO in 2006.

- Nebraska Furniture Mart (80% owned) set an earnings record in 2011, netting more than ten times what it did in 1983, when we acquired our stake.

  But that's not the big news. More important was NFM's acquisition of a 433-acre tract north of Dallas on which we will build what is almost certain to be the highest-volume home-furnishings store in the country. Currently, that title is shared by our two stores in Omaha and Kansas City, each of which had record-setting sales of more than $400 million in 2011. It will be several years before the Texas store is completed, but I look forward to cutting the ribbon at the opening. (At Berkshire, the managers do the work; I take the bows.)

  Our new store, which will offer an unequalled variety of merchandise sold at prices that can't be matched, will bring huge crowds from near and far. This drawing power and our extensive holdings of land at the site should enable us to attract a number of other major stores. (If any high-volume retailers are reading this, contact me.)

  Our experience with NFM and the Blumkin family that runs it has been a real joy. The business was built by Rose Blumkin (known to all as "Mrs. B"), who started the company in 1937 with $500 and a dream. She sold me our interest when she was 89 and worked until she was 103. (After retiring, she died the next year, a sequence I point out to any other Berkshire manager who even thinks of retiring.)

  Mrs. B's son, Louie, now 92, helped his mother build the business after he returned from World War II and, along with his wife, Fran, has been my friend for 55 years. In turn, Louie's sons, Ron and Irv, have taken the company to new heights, first opening the Kansas City store and now gearing up for Texas.

The "boys" and I have had many great times together, and I count them among my best friends. The Blumkins are a remarkable family. Never inclined to let an extraordinary gene pool go to waste, I am rejoicing these days because several members of the fourth Blumkin generation have joined NFM.

Overall, the intrinsic value of the businesses in this Berkshire sector significantly exceeds their book value. For many of the smaller companies, however, this is not true. I have made more than my share of mistakes buying small companies. Charlie long ago told me, "If something's not worth doing at all, it's not worth doing well," and I should have listened harder. In any event, our large purchases have generally worked well – extraordinarily well in a few cases – and overall this sector is a winner for us.

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Certain shareholders have told me they hunger for more discussions of accounting arcana. So here's a bit of GAAP-mandated nonsense I hope both of them enjoy.

Common sense would tell you that our varied subsidiaries should be carried on our books at their cost plus the earnings they have retained since our purchase (unless their economic value has materially decreased, in which case an appropriate write-down must be taken). And that's essentially the reality at Berkshire – except for the weird situation at Marmon.

We purchased 64% of the company in 2008 and put this interest on our books at our cost, $4.8 billion. So far, so good. Then, in early 2011, pursuant to our original contract with the Pritzker family, we purchased an additional 16%, paying $1.5 billion as called for by a formula that reflected Marmon's increased value. In this instance, however, we were required to immediately write off $614 million of the purchase price retroactive to the end of 2010. (Don't ask!) Obviously, this write-off had no connection to economic reality. The excess of Marmon's intrinsic value over its carrying value is widened by this meaningless write-down.

Finance and Financial Products

This sector, our smallest, includes two rental companies, XTRA (trailers) and CORT (furniture), and Clayton Homes, the country's leading producer and financer of manufactured homes. Aside from these 100%-owned subsidiaries, we also include in this category a collection of financial assets and our 50% interest in Berkadia Commercial Mortgage.

It's instructive to look at what transpired at our three operating businesses after the economy fell off a cliff in late 2008, because their experiences illuminate the fractured recovery that later came along.

Results at our two leasing companies mirrored the "non-housing" economy. Their combined pre-tax earnings were $13 million in 2009, $53 million in 2010 and $155 million in 2011, an improvement reflecting the steady recovery we have seen in almost all of our non-housing businesses. In contrast, Clayton's world of manufactured housing (just like site-built housing) has endured a veritable depression, experiencing no recovery to date. Manufactured housing sales in the nation were 49,789 homes in 2009, 50,046 in 2010 and 51,606 in 2011. (When housing was booming in 2005, they were 146,744.)

Despite these difficult times, Clayton has continued to operate profitably, largely because its mortgage portfolio has performed well under trying circumstances. Because we are the largest lender in the manufactured homes sector and are also normally lending to lower-and-middle-income families, you might expect us to suffer heavy losses during a housing meltdown. But by sticking to old-fashioned loan policies – meaningful down payments and monthly payments with a sensible relationship to regular income – Clayton has kept losses to acceptable levels. It has done so even though many of our borrowers have had negative equity for some time.

As is well-known, the U.S. went off the rails in its home-ownership and mortgage-lending policies, and for these mistakes our economy is now paying a huge price. All of us participated in the destructive behavior – government, lenders, borrowers, the media, rating agencies, you name it. At the core of the folly was the almost universal belief that the value of houses was certain to increase over time and that any dips would be inconsequential. The acceptance of this premise justified almost any price and practice in housing transactions. Homeowners everywhere felt richer and rushed to "monetize" the increased value of their homes by refinancings. These massive cash infusions fueled a consumption binge throughout our economy. It all seemed great fun while it lasted. (A largely unnoted fact: Large numbers of people who have "lost" their house through foreclosure have actually realized a profit because they carried out refinancings earlier that gave them cash in excess of their cost. In these cases, the evicted homeowner was the winner, and the victim was the lender.)

In 2007, the bubble burst, just as all bubbles must. We are now in the fourth year of a cure that, though long and painful, is sure to succeed. Today, household formations are consistently exceeding housing starts.

Clayton's earnings should improve materially when the nation's excess housing inventory is worked off. As I see things today, however, I believe the intrinsic value of the three businesses in this sector does not differ materially from their book value.

Investments

Below we show our common stock investments that at yearend had a market value of more than $1 billion.

			12/31/11	
Shares	*Company*	*Percentage of Company Owned*	*Cost**	*Market*
			(in millions)	
151,610,700	American Express Company	13.0	$ 1,287	$ 7,151
200,000,000	The Coca-Cola Company	8.8	1,299	13,994
29,100,937	ConocoPhillips	2.3	2,027	2,121
63,905,931	International Business Machines Corp.	5.5	10,856	11,751
31,416,127	Johnson & Johnson	1.2	1,880	2,060
79,034,713	Kraft Foods Inc.	4.5	2,589	2,953
20,060,390	Munich Re	11.3	2,990	2,464
3,947,555	POSCO	5.1	768	1,301
72,391,036	The Procter & Gamble Company	2.6	464	4,829
25,848,838	Sanofi	1.9	2,055	1,900
291,577,428	Tesco plc	3.6	1,719	1,827
78,060,769	U.S. Bancorp	4.1	2,401	2,112
39,037,142	Wal-Mart Stores, Inc.	1.1	1,893	2,333
400,015,828	Wells Fargo & Company	7.6	9,086	11,024
	Others		6,895	9,171
	Total Common Stocks Carried at Market		$48,209	$76,991

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required.

We made few changes in our investment holdings during 2011. But three moves were important: our purchases of IBM and Bank of America and the $1 billion addition we made to our Wells Fargo position.

The banking industry is back on its feet, and Wells Fargo is prospering. Its earnings are strong, its assets solid and its capital at record levels. At Bank of America, some huge mistakes were made by prior management. Brian Moynihan has made excellent progress in cleaning these up, though the completion of that process will take a number of years. Concurrently, he is nurturing a huge and attractive underlying business that will endure long after today's problems are forgotten. Our warrants to buy 700 million Bank of America shares will likely be of great value before they expire.

As was the case with Coca-Cola in 1988 and the railroads in 2006, I was late to the IBM party. I have been reading the company's annual report for more than 50 years, but it wasn't until a Saturday in March last year that my thinking crystallized. As Thoreau said, "It's not what you look at that matters, it's what you see."

Todd Combs built a $1.75 billion portfolio (at cost) last year, and Ted Weschler will soon create one of similar size. Each of them receives 80% of his performance compensation from his own results and 20% from his partner's. When our quarterly filings report relatively small holdings, these are not likely to be buys I made (though the media often overlook that point) but rather holdings denoting purchases by Todd or Ted.

One additional point about these two new arrivals. Both Ted and Todd will be helpful to the next CEO of Berkshire in making acquisitions. They have excellent "business minds" that grasp the economic forces likely to determine the future of a wide variety of businesses. They are aided in their thinking by an understanding of what is predictable and what is unknowable.

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There is little new to report on our derivatives positions, which we have described in detail in past reports. (Annual reports since 1977 are available at www.berkshirehathaway.com.) One important industry change, however, must be noted: Though our existing contracts have very minor collateral requirements, the rules have changed for new positions. Consequently, we will not be initiating any major derivatives positions. We shun contracts of any type that could require the instant posting of collateral. The possibility of some sudden and huge posting requirement – arising from an out-of-the-blue event such as a worldwide financial panic or massive terrorist attack – is inconsistent with our primary objectives of redundant liquidity and unquestioned financial strength.

Our insurance-like derivatives contracts, whereby we pay if various issues included in high-yield bond indices default, are coming to a close. The contracts that most exposed us to losses have already expired, and the remainder will terminate soon. In 2011, we paid out $86 million on two losses, bringing our total payments to $2.6 billion. We are almost certain to realize a final "underwriting profit" on this portfolio because the premiums we received were $3.4 billion, and our future losses are apt to be minor. In addition, we will have averaged about $2 billion of float over the five-year life of these contracts. This successful result during a time of great credit stress underscores the importance of obtaining a premium that is commensurate with the risk.

Charlie and I continue to believe that our equity-put positions will produce a significant profit, considering both the $4.2 billion of float we will have held for more than fifteen years and the $222 million profit we've already realized on contracts that we repurchased. At yearend, Berkshire's book value reflected a liability of $8.5 billion for the remaining contracts; if they had all come due at that time our payment would have been $6.2 billion.

The Basic Choices for Investors and the One We Strongly Prefer

Investing is often described as the process of laying out money now in the expectation of receiving more money in the future. At Berkshire we take a more demanding approach, defining investing as the transfer to others of purchasing power now with the reasoned expectation of receiving more purchasing power – *after taxes have been paid on nominal gains* – in the future. More succinctly, investing is forgoing consumption now in order to have the ability to consume more at a later date.

From our definition there flows an important corollary: The riskiness of an investment is *not* measured by beta (a Wall Street term encompassing volatility and often used in measuring risk) but rather by the probability – the *reasoned* probability – of that investment causing its owner a loss of purchasing-power over his contemplated holding period. Assets can fluctuate greatly in price and not be risky as long as they are reasonably certain to deliver increased purchasing power over their holding period. And as we will see, a non-fluctuating asset can be laden with risk.

Investment possibilities are both many and varied. There are three major categories, however, and it's important to understand the characteristics of each. So let's survey the field.

- Investments that are denominated in a given currency include money-market funds, bonds, mortgages, bank deposits, and other instruments. Most of these currency-based investments are thought of as "safe." In truth they are among the most dangerous of assets. Their beta may be zero, but their risk is huge.

  Over the past century these instruments have destroyed the purchasing power of investors in many countries, even as the holders continued to receive timely payments of interest and principal. This ugly result, moreover, will forever recur. Governments determine the ultimate value of money, and systemic forces will sometimes cause them to gravitate to policies that produce inflation. From time to time such policies spin out of control.

  Even in the U.S., where the wish for a stable currency is strong, the dollar has fallen a staggering 86% in value since 1965, when I took over management of Berkshire. It takes no less than $7 today to buy what $1 did at that time. Consequently, a tax-free institution would have needed 4.3% interest annually from bond investments over that period to simply maintain its purchasing power. Its managers would have been kidding themselves if they thought of *any* portion of that interest as "income."

For tax-paying investors like you and me, the picture has been far worse. During the same 47-year period, continuous rolling of U.S. Treasury bills produced 5.7% annually. That sounds satisfactory. But if an individual investor paid personal income taxes at a rate averaging 25%, this 5.7% return would have yielded *nothing* in the way of real income. This investor's visible income tax would have stripped him of 1.4 points of the stated yield, and the invisible inflation tax would have devoured the remaining 4.3 points. It's noteworthy that the implicit inflation "tax" was more than triple the explicit income tax that our investor probably thought of as his main burden. "In God We Trust" may be imprinted on our currency, but the hand that activates our government's printing press has been all too human.

High interest rates, of course, can compensate purchasers for the inflation risk they face with currency-based investments – and indeed, rates in the early 1980s did that job nicely. Current rates, however, do not come close to offsetting the purchasing-power risk that investors assume. Right now bonds should come with a warning label.

Under today's conditions, therefore, I do not like currency-based investments. Even so, Berkshire holds significant amounts of them, primarily of the short-term variety. At Berkshire the need for ample liquidity occupies center stage and will *never* be slighted, however inadequate rates may be. Accommodating this need, we primarily hold U.S. Treasury bills, the only investment that can be counted on for liquidity under the most chaotic of economic conditions. Our working level for liquidity is $20 billion; $10 billion is our absolute minimum.

Beyond the requirements that liquidity and regulators impose on us, we will purchase currency-related securities only if they offer the possibility of unusual gain – either because a particular credit is mispriced, as can occur in periodic junk-bond debacles, or because rates rise to a level that offers the possibility of realizing substantial capital gains on high-grade bonds when rates fall. Though we've exploited both opportunities in the past – and may do so again – we are now 180 degrees removed from such prospects. Today, a wry comment that Wall Streeter Shelby Cullom Davis made long ago seems apt: "Bonds promoted as offering risk-free returns are now priced to deliver return-free risk."

- The second major category of investments involves assets that will never produce anything, but that are purchased in the buyer's hope that someone else – who also knows that the assets will be forever unproductive – will pay more for them in the future. Tulips, of all things, briefly became a favorite of such buyers in the 17th century.

  This type of investment requires an expanding pool of buyers, who, in turn, are enticed because they believe the buying pool will expand still further. Owners are *not* inspired by what the asset itself can produce – it will remain lifeless forever – but rather by the belief that others will desire it even more avidly in the future.

  The major asset in this category is gold, currently a huge favorite of investors who fear almost all other assets, especially paper money (of whose value, as noted, they are right to be fearful). Gold, however, has two significant shortcomings, being neither of much use nor procreative. True, gold has some industrial and decorative utility, but the demand for these purposes is both limited and incapable of soaking up new production. Meanwhile, if you own one ounce of gold for an eternity, you will still own one ounce at its end.

  What motivates most gold purchasers is their belief that the ranks of the fearful will grow. During the past decade that belief has proved correct. Beyond that, the rising price has on its own generated additional buying enthusiasm, attracting purchasers who see the rise as validating an investment thesis. As "bandwagon" investors join any party, they create their own truth – *for a while*.

  Over the past 15 years, both Internet stocks and houses have demonstrated the extraordinary excesses that can be created by combining an initially sensible thesis with well-publicized rising prices. In these bubbles, an army of originally skeptical investors succumbed to the "proof" delivered by the market, and the pool of buyers – for a time – expanded sufficiently to keep the bandwagon rolling. But bubbles blown large enough inevitably pop. And then the old proverb is confirmed once again: "What the wise man does in the beginning, the fool does in the end."

Today the world's gold stock is about 170,000 metric tons. If all of this gold were melded together, it would form a cube of about 68 feet per side. (Picture it fitting comfortably within a baseball infield.) At $1,750 per ounce – gold's price as I write this – its value would be $9.6 trillion. Call this cube pile A.

Let's now create a pile B costing an equal amount. For that, we could buy *all* U.S. cropland (400 million acres with output of about $200 billion annually), plus 16 Exxon Mobils (the world's most profitable company, one earning more than $40 billion annually). After these purchases, we would have about $1 trillion left over for walking-around money (no sense feeling strapped after this buying binge). Can you imagine an investor with $9.6 trillion selecting pile A over pile B?

Beyond the staggering valuation given the existing stock of gold, current prices make today's annual production of gold command about $160 billion. Buyers – whether jewelry and industrial users, frightened individuals, or speculators – must continually absorb this additional supply to merely maintain an equilibrium at present prices.

A century from now the 400 million acres of farmland will have produced staggering amounts of corn, wheat, cotton, and other crops – and will continue to produce that valuable bounty, whatever the currency may be. Exxon Mobil will probably have delivered trillions of dollars in dividends to its owners and will also hold assets worth many more trillions (and, remember, you get *16* Exxons). The 170,000 tons of gold will be unchanged in size and still incapable of producing anything. You can fondle the cube, but it will not respond.

Admittedly, when people a century from now are fearful, it's likely many will still rush to gold. I'm confident, however, that the $9.6 trillion current valuation of pile A will compound over the century at a rate far inferior to that achieved by pile B.

- Our first two categories enjoy maximum popularity at peaks of fear: Terror over economic collapse drives individuals to currency-based assets, most particularly U.S. obligations, and fear of currency collapse fosters movement to sterile assets such as gold. We heard "cash is king" in late 2008, just when cash should have been deployed rather than held. Similarly, we heard "cash is trash" in the early 1980s just when fixed-dollar investments were at their most attractive level in memory. On those occasions, investors who required a supportive crowd paid dearly for that comfort.

  My own preference – and you knew this was coming – is our third category: investment in productive assets, whether businesses, farms, or real estate. Ideally, these assets should have the ability in inflationary times to deliver output that will retain its purchasing-power value while requiring a minimum of new capital investment. Farms, real estate, and many businesses such as Coca-Cola, IBM and our own See's Candy meet that double-barreled test. Certain other companies – think of our regulated utilities, for example – fail it because inflation places heavy capital requirements on them. To earn more, their owners must invest more. Even so, these investments will remain superior to nonproductive or currency-based assets.

  Whether the currency a century from now is based on gold, seashells, shark teeth, or a piece of paper (as today), people will be willing to exchange a couple of minutes of their daily labor for a Coca-Cola or some See's peanut brittle. In the future the U.S. population will move more goods, consume more food, and require more living space than it does now. People will forever exchange what they produce for what others produce.

  Our country's businesses will continue to efficiently deliver goods and services wanted by our citizens. Metaphorically, these commercial "cows" will live for centuries and give ever greater quantities of "milk" to boot. Their value will be determined not by the medium of exchange but rather by their capacity to deliver milk. Proceeds from the sale of the milk will compound for the owners of the cows, just as they did during the 20th century when the Dow increased from 66 to 11,497 (and paid loads of dividends as well). Berkshire's goal will be to increase its ownership of first-class businesses. Our first choice will be to own them in their entirety – but we will also be owners by way of holding sizable amounts of marketable stocks. I believe that over any extended period of time this category of investing will prove to be the runaway winner among the three we've examined. More important, it will be *by far* the safest.

The Annual Meeting

The annual meeting will be held on Saturday, May 5th at the CenturyLink Center (renamed from "Qwest"). Last year, Carrie Kizer debuted as the ringmaster and earned a lifetime assignment. Everyone loved the job she did – especially me.

Soon after the 7 a.m. opening of the doors, we will have a new activity: The Newspaper Tossing Challenge. Late last year, Berkshire purchased the Omaha World-Herald and, in my meeting with its shareholder-employees, I told of the folding and throwing skills I developed while delivering 500,000 papers as a teenager.

I immediately saw skepticism in the eyes of the audience. That was no surprise to me. After all, the reporters' mantra is: "If your mother says she loves you, check it out." So now I have to back up my claim. At the meeting, I will take on all comers in making 35-foot tosses of the World-Herald to a Clayton porch. Any challenger whose paper lands closer to the doorstep than mine will receive a dilly bar. I've asked Dairy Queen to supply several for the contest, though I doubt that any will be needed. We will have a large stack of papers. Grab one. Fold it (no rubber bands). Take your best shot. Make my day.

At 8:30, a new Berkshire movie will be shown. An hour later, we will start the question-and-answer period, which (with a break for lunch at the CenturyLink's stands) will last until 3:30. After a short recess, Charlie and I will convene the annual meeting at 3:45. If you decide to leave during the day's question periods, please do so while *Charlie* is talking.

The best reason to exit, of course, is to *shop*. We will help you do so by filling the 194,300-square-foot hall that adjoins the meeting area with products from dozens of Berkshire subsidiaries. Last year, you did your part, and most locations racked up record sales. In a nine-hour period, we sold 1,249 pairs of Justin boots, 11,254 pounds of See's candy, 8,000 Quikut knives (that's 15 knives per minute) and 6,126 pairs of Wells Lamont gloves, a Marmon product whose very existence was news to me. (The product I focus on is money.) But you can do better. Remember: Anyone who says money can't buy happiness simply hasn't shopped at our meeting.

Among the new exhibitors this year will be Brooks, our running-shoe company. Brooks has been gobbling up market share and in 2011 had a sales gain of 34%, its tenth consecutive year of record volume. Drop by and congratulate Jim Weber, the company's CEO. And be sure to buy a couple of pairs of limited edition "Berkshire Hathaway Running Shoes."

GEICO will have a booth staffed by a number of its top counselors from around the country, all of them ready to supply you with auto insurance quotes. In most cases, GEICO will be able to give you a shareholder discount (usually 8%). This special offer is permitted by 44 of the 51 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another, such as that given certain groups.) Bring the details of your existing insurance and check out whether we can save you money. For at least half of you, I believe we can.

Be sure to visit the Bookworm. It will carry more than 35 books and DVDs, including a couple of new ones. I recommend *MiTek*, an informative history of one of our very successful subsidiaries. You'll learn how my interest in the company was originally piqued by my receiving in the mail a hunk of ugly metal whose purpose I couldn't fathom. Since we bought MiTek in 2001, it has made 33 "tuck-in" acquisitions, almost all successful. I think you'll also like a short book that Peter Bevelin has put together explaining Berkshire's investment and operating principles. It sums up what Charlie and I have been saying over the years in annual reports and at annual meetings. Should you need to ship your book purchases, a shipping service will be available nearby.

If you are a big spender – or aspire to become one – visit Elliott Aviation on the east side of the Omaha airport between noon and 5:00 p.m. on Saturday. There we will have a fleet of NetJets aircraft that will get your pulse racing. Come by bus; leave by private jet. I'll OK your credit.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. Airlines have sometimes jacked up prices for the Berkshire weekend. If you are coming from far away, compare the cost of flying to Kansas City versus Omaha. The drive between the two cities is about 2½ hours, and it may be that you can save significant money, particularly if you had planned to rent a car in Omaha. Spend the savings with us.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. Last year the store did $32.7 million of business during its annual meeting sale, a volume that exceeds the yearly sales of most furniture stores. To obtain the Berkshire discount, you must make your purchases between Tuesday, May 1st and Monday, May 7th inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m. to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m., NFM is having a picnic to which you are all invited.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 9 p.m. on Friday, May 4th. The second, the main gala, will be held on Sunday, May 6th, from 9 a.m. to 4 p.m. On Saturday, we will be open until 6 p.m. On Sunday, around 2 p.m., I will be clerking at Borsheims, desperate to beat my sales figure from last year. So come take advantage of me. Ask me for my "Crazy Warren" price.

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 30th through Saturday, May 12th. During that period, please identify yourself as a shareholder by presenting your meeting credentials or a brokerage statement that shows you are a Berkshire holder.

On Sunday, in the mall outside of Borsheims, a blindfolded Patrick Wolff, twice U.S. chess champion, will take on all comers – who will have their eyes wide open – in groups of six. Nearby, Norman Beck, a remarkable magician from Dallas, will bewilder onlookers. Additionally, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play bridge with our shareholders on Sunday afternoon. Two non-experts – Charlie and I – will also be at the tables.

Gorat's and Piccolo's will again be open exclusively for Berkshire shareholders on Sunday, May 6th. Both will be serving until 10 p.m., with Gorat's opening at 1 p.m. and Piccolo's opening at 4 p.m. These restaurants are my favorites, and I will eat at both of them on Sunday evening. (Actuarial tables tell me that I can consume another 12 million calories before my death. I'm terrified at the thought of leaving any of these behind, so will be frontloading on Sunday.) Remember: To make a reservation at Gorat's, call 402-551-3733 on April 1st (*but not before*) and at Piccolo's, call 402-342-9038. At Piccolo's, show some class and order a giant root beer float for dessert. Only sissies get the small one.

We will again have the same three financial journalists lead the question-and-answer period at the meeting, asking Charlie and me questions that shareholders have submitted to them by e-mail. The journalists and their e-mail addresses are: Carol Loomis, of Fortune, who may be e-mailed at cloomis@fortunemail.com; Becky Quick, of CNBC, at BerkshireQuestions@cnbc.com, and Andrew Ross Sorkin, of The New York Times, at arsorkin@nytimes.com.

From the questions submitted, each journalist will choose the dozen or so he or she decides are the most interesting and important. The journalists have told me your question has the best chance of being selected if you keep it concise, avoid sending it in at the last moment, make it Berkshire-related and include no more than two questions in any e-mail you send them. (In your e-mail, let the journalist know if you would like your name mentioned if your question is selected.)

This year we are adding a second panel of three financial analysts who follow Berkshire. They are Cliff Gallant of KBW, Jay Gelb of Barclays Capital and Gary Ransom of Dowling and Partners. These analysts will bring their own Berkshire-specific questions and alternate with the journalists and the audience.

Charlie and I believe that all shareholders should have access to new Berkshire information simultaneously and should also have adequate time to analyze it, which is why we try to issue financial information after the market close on a Friday. We do not talk one-on-one to large institutional investors or analysts. Our new panel will let analysts ask questions – perhaps even a few technical ones – in a manner that may be helpful to many shareholders.

Neither Charlie nor I will get so much as a clue about the questions to be asked. We know the journalists and analysts will come up with some tough ones, and that's the way we like it. All told, we expect at least 54 questions, which will allow for six from each analyst and journalist and 18 from the audience. If there is some extra time, we will take more from the audience. Audience questioners will be determined by drawings that will take place at 8:15 a.m. at each of the 13 microphones located in the arena and main overflow room.

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For good reason, I regularly extol the accomplishments of our operating managers. They are truly All-Stars, who run their businesses as if they were the only asset owned by their families. I believe their mindset to be as shareholder-oriented as can be found in the universe of large publicly-owned companies. Most have no financial need to work; the joy of hitting business "home runs" means as much to them as their paycheck.

Equally important, however, are the 23 men and women who work with me at our corporate office (all on one floor, which is the way we intend to keep it!).

This group efficiently deals with a multitude of SEC and other regulatory requirements and files a 17,839-page Federal income tax return – hello, Guinness! – as well as state and foreign returns. Additionally, they respond to countless shareholder and media inquiries, get out the annual report, prepare for the country's largest annual meeting, coordinate the Board's activities – and the list goes on and on.

They handle all of these business tasks cheerfully and with unbelievable efficiency, making my life easy and pleasant. Their efforts go beyond activities strictly related to Berkshire: They deal with 48 universities (selected from 200 applicants) who will send students to Omaha this school year for a day with me and also handle all kinds of requests that I receive, arrange my travel, and even get me hamburgers for lunch. No CEO has it better.

This home office crew, along with our operating managers, has my deepest thanks and deserves yours as well. Come to Omaha – the cradle of capitalism – on May 5th and tell them so.

February 25, 2012

Warren E. Buffett
Chairman of the Board

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	0.7
1998	48.3	28.6	19.7
1999	0.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
2004	10.5	10.9	(0.4)
2005	6.4	4.9	1.5
2006	18.4	15.8	2.6
2007	11.0	5.5	5.5
2008	(9.6)	(37.0)	27.4
2009	19.8	26.5	(6.7)
2010	13.0	15.1	(2.1)
2011	4.6	2.1	2.5
2012	14.4	16.0	(1.6)
Compounded Annual Gain – 1965-2012	19.7%	9.4%	10.3
Overall Gain – 1964-2012	586,817%	7,433%	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31. Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported. The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

In 2012, Berkshire achieved a total gain for its shareholders of $24.1 billion. We used $1.3 billion of that to repurchase our stock, which left us with an increase in net worth of $22.8 billion for the year. The per-share book value of both our Class A and Class B stock increased by 14.4%. Over the last 48 years (that is, since present management took over), book value has grown from $19 to $114,214, a rate of 19.7% compounded annually.*

A number of good things happened at Berkshire last year, but let's first get the bad news out of the way.

- When the partnership I ran took control of Berkshire in 1965, I could never have dreamed that a year in which we had a gain of $24.1 billion would be subpar, in terms of the comparison we present on the facing page.

  But subpar it was. For the ninth time in 48 years, Berkshire's percentage increase in book value was less than the S&P's percentage gain (a calculation that includes dividends as well as price appreciation). In eight of those nine years, it should be noted, the S&P had a gain of 15% or more. We do better when the wind is in our face.

  To date, we've never had a five-year period of underperformance, having managed 43 times to surpass the S&P over such a stretch. (The record is on page 103.) But the S&P has now had gains in each of the last four years, outpacing us over that period. If the market continues to advance in 2013, our streak of five-year wins will end.

  One thing of which you can be certain: Whatever Berkshire's results, my partner Charlie Munger, the company's Vice Chairman, and I will not change yardsticks. It's our *job* to increase intrinsic business value – for which we use book value as a *significantly understated* proxy – at a faster rate than the market gains of the S&P. If we do so, Berkshire's share price, though unpredictable from year to year, will itself outpace the S&P over time. If we fail, however, our management will bring no value to our investors, who themselves can earn S&P returns by buying a low-cost index fund.

  Charlie and I believe the gain in Berkshire's intrinsic value will over time likely surpass the S&P returns by a small margin. We're confident of that because we have some outstanding businesses, a cadre of terrific operating managers and a shareholder-oriented culture. Our relative performance, however, is almost certain to be better when the market is down or flat. In years when the market is particularly strong, expect us to fall short.

- The second disappointment in 2012 was my inability to make a major acquisition. I pursued a couple of elephants, but came up empty-handed.

* All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/1500th of those shown for A.

Our luck, however, changed early this year. In February, we agreed to buy 50% of a holding company that will own all of H. J. Heinz. The other half will be owned by a small group of investors led by Jorge Paulo Lemann, a renowned Brazilian businessman and philanthropist.

We couldn't be in better company. Jorge Paulo is a long-time friend of mine and an extraordinary manager. His group and Berkshire will each contribute about $4 billion for common equity in the holding company. Berkshire will also invest $8 billion in preferred shares that pay a 9% dividend. The preferred has two other features that materially increase its value: at some point it will be redeemed at a significant premium price and the preferred also comes with warrants permitting us to buy 5% of the holding company's common stock for a nominal sum.

Our total investment of about $12 billion soaks up much of what Berkshire earned last year. But we still have plenty of cash and are generating more at a good clip. So it's back to work; Charlie and I have again donned our safari outfits and resumed our search for elephants.

Now to some good news from 2012:

- Last year I told you that BNSF, Iscar, Lubrizol, Marmon Group and MidAmerican Energy – our five most profitable non-insurance companies – were likely to earn more than $10 billion pre-tax in 2012. They delivered. Despite tepid U.S. growth and weakening economies throughout much of the world, our "powerhouse five" had aggregate earnings of $10.1 billion, about $600 million more than in 2011.

  Of this group, only MidAmerican, then earning $393 million pre-tax, was owned by Berkshire eight years ago. Subsequently, we purchased another three of the five on an all-cash basis. In acquiring the fifth, BNSF, we paid about 70% of the cost in cash, and for the remainder, issued shares that increased the amount outstanding by 6.1%. Consequently, the $9.7 billion gain in annual earnings delivered Berkshire by the five companies has been accompanied by only minor dilution. That satisfies our goal of not simply growing, but rather increasing *per-share* results.

  Unless the U.S. economy tanks – which we don't expect – our powerhouse five should again deliver higher earnings in 2013. The five outstanding CEOs who run them will see to that.

- Though I failed to land a major acquisition in 2012, the managers of our subsidiaries did far better. We had a record year for "bolt-on" purchases, spending about $2.3 billion for 26 companies that were melded into our existing businesses. These transactions were completed without Berkshire issuing *any* shares.

  Charlie and I love these acquisitions: Usually they are low-risk, burden headquarters not at all, and expand the scope of our proven managers.

- Our insurance operations shot the lights out last year. While giving Berkshire $73 billion of *free* money to invest, they also delivered a $1.6 billion underwriting gain, the tenth consecutive year of profitable underwriting. This is truly having your cake and eating it too.

  GEICO led the way, continuing to gobble up market share without sacrificing underwriting discipline. Since 1995, when we obtained control, GEICO's share of the personal-auto market has grown from 2.5% to 9.7%. Premium volume meanwhile increased from $2.8 billion to $16.7 billion. Much more growth lies ahead.

  The credit for GEICO's extraordinary performance goes to Tony Nicely and his 27,000 associates. And to that cast, we should add our Gecko. Neither rain nor storm nor gloom of night can stop him; the little lizard just soldiers on, telling Americans how they can save big money by going to GEICO.com.

  When I count my blessings, I count GEICO twice.

- Todd Combs and Ted Weschler, our new investment managers, have proved to be smart, models of integrity, helpful to Berkshire in many ways beyond portfolio management, and a perfect cultural fit. We hit the jackpot with these two. In 2012 each outperformed the S&P 500 by double-digit margins. They left me in the dust as well.

  Consequently, we have increased the funds managed by each to almost $5 billion (some of this emanating from the pension funds of our subsidiaries). Todd and Ted are young and will be around to manage Berkshire's massive portfolio long after Charlie and I have left the scene. You can rest easy when they take over.

- Berkshire's yearend employment totaled a record 288,462 (see page 106 for details), up 17,604 from last year. Our headquarters crew, however, remained unchanged at 24. No sense going crazy.

- Berkshire's "Big Four" investments – American Express, Coca-Cola, IBM and Wells Fargo – all had good years. Our ownership interest in each of these companies increased during the year. We purchased additional shares of Wells Fargo (our ownership now is 8.7% versus 7.6% at yearend 2011) and IBM (6.0% versus 5.5%). Meanwhile, stock repurchases at Coca-Cola and American Express raised our percentage ownership. Our equity in Coca-Cola grew from 8.8% to 8.9% and our interest at American Express from 13.0% to 13.7%.

  Berkshire's ownership interest in all four companies is likely to increase in the future. Mae West had it right: "Too much of a good thing can be wonderful."

  The four companies possess marvelous businesses and are run by managers who are both talented and shareholder-oriented. At Berkshire we much prefer owning a non-controlling but substantial portion of a wonderful business to owning 100% of a so-so business. Our flexibility in capital allocation gives us a significant advantage over companies that limit themselves only to acquisitions they can operate.

  Going by our yearend share count, our portion of the "Big Four's" 2012 earnings amounted to $3.9 billion. In the earnings we report to you, however, we include only the dividends we receive – about $1.1 billion. But make no mistake: The $2.8 billion of earnings we do not report is every bit as valuable to us as what we record.

  The earnings that the four companies retain are often used for repurchases – which enhance our share of future earnings – and also for funding business opportunities that are usually advantageous. Over time we expect substantially greater earnings from these four investees. If we are correct, dividends to Berkshire will increase and, even more important, so will our unrealized capital gains (which, for the four, totaled $26.7 billion at yearend).

- There was a lot of hand-wringing last year among CEOs who cried "uncertainty" when faced with capital-allocation decisions (despite many of their businesses having enjoyed record levels of both earnings and cash). At Berkshire, we didn't share their fears, instead spending a record $9.8 billion on plant and equipment in 2012, about 88% of it in the United States. That's 19% more than we spent in 2011, our previous high. Charlie and I love investing large sums in worthwhile projects, whatever the pundits are saying. We instead heed the words from Gary Allan's new country song, "Every Storm Runs Out of Rain."

  We will keep our foot to the floor and will almost certainly set still another record for capital expenditures in 2013. Opportunities abound in America.

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A thought for my fellow CEOs: Of course, the immediate future is uncertain; America has faced the unknown since 1776. It's just that sometimes people focus on the myriad of uncertainties that always exist while at other times they ignore them (usually because the recent past has been uneventful).

American business will do fine over time. And stocks will do well just as certainly, since their fate is tied to business performance. Periodic setbacks will occur, yes, but investors and managers are in a game that is heavily stacked in their favor. (The Dow Jones Industrials advanced from 66 to 11,497 in the 20th Century, a staggering 17,320% increase that materialized despite four costly wars, a Great Depression and many recessions. And don't forget that shareholders received substantial dividends throughout the century as well.)

Since the basic game is so favorable, Charlie and I believe it's a terrible mistake to try to dance in and out of it based upon the turn of tarot cards, the predictions of "experts," or the ebb and flow of business activity. The risks of being out of the game are huge compared to the risks of being in it.

My own history provides a dramatic example: I made my first stock purchase in the spring of 1942 when the U.S. was suffering major losses throughout the Pacific war zone. Each day's headlines told of more setbacks. Even so, there was no talk about uncertainty; *every* American I knew believed we would prevail.

The country's success since that perilous time boggles the mind: On an inflation-adjusted basis, GDP per capita more than *quadrupled* between 1941 and 2012. Throughout that period, *every* tomorrow has been uncertain. America's destiny, however, has always been clear: ever-increasing abundance.

If you are a CEO who has some large, profitable project you are shelving because of short-term worries, call Berkshire. Let us unburden you.

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In summary, Charlie and I hope to build per-share intrinsic value by (1) improving the earning power of our many subsidiaries; (2) further increasing their earnings through bolt-on acquisitions; (3) participating in the growth of our investees; (4) repurchasing Berkshire shares when they are available at a meaningful discount from intrinsic value; and (5) making an occasional large acquisition. We will also try to maximize results for *you* by rarely, if ever, issuing Berkshire shares.

Those building blocks rest on a rock-solid foundation. A century hence, BNSF and MidAmerican Energy will continue to play major roles in the American economy. Insurance, moreover, will always be essential for both businesses and individuals – and no company brings greater resources to that arena than Berkshire. As we view these and other strengths, Charlie and I like your company's prospects.

Intrinsic Business Value

As much as Charlie and I talk about intrinsic business value, we cannot tell you precisely what that number is for Berkshire shares (or, for that matter, any other stock). In our 2010 annual report, however, we laid out the three elements – one of which was qualitative – that we believe are the keys to a sensible estimate of Berkshire's intrinsic value. That discussion is reproduced in full on pages 104-105.

Here is an update of the two quantitative factors: In 2012 our per-share investments increased 15.7% to $113,786, and our per-share pre-tax earnings from businesses other than insurance and investments also increased 15.7% to $8,085.

Since 1970, our per-share investments have increased at a rate of 19.4% compounded annually, and our per-share earnings figure has grown at a 20.8% clip. It is no coincidence that the price of Berkshire stock over the 42-year period has increased at a rate very similar to that of our two measures of value. Charlie and I like to see gains in both areas, but our strong emphasis will always be on building operating earnings.

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Now, let's examine the four major sectors of our operations. Each has vastly different balance sheet and income characteristics from the others. Lumping them together therefore impedes analysis. So we'll present them as four separate businesses, which is how Charlie and I view them.

Insurance

Let's look first at insurance, Berkshire's core operation and the engine that has propelled our expansion over the years.

Property-casualty ("P/C") insurers receive premiums upfront and pay claims later. In extreme cases, such as those arising from certain workers' compensation accidents, payments can stretch over decades. This collect-now, pay-later model leaves us holding large sums – money we call "float" – that will eventually go to others. Meanwhile, we get to invest this float for Berkshire's benefit. Though individual policies and claims come and go, the amount of float we hold remains quite stable in relation to premium volume. Consequently, as our business grows, so does our float. And *how* we have grown, as the following table shows:

Year	*Float (in $ millions)*
1970	$ 39
1980	237
1990	1,632
2000	27,871
2010	65,832
2012	73,125

Last year I told you that our float was likely to level off or even decline a bit in the future. Our insurance CEOs set out to prove me wrong and *did*, increasing float last year by $2.5 billion. I now expect a further increase in 2013. But further gains will be tough to achieve. On the plus side, GEICO's float will almost certainly grow. In National Indemnity's reinsurance division, however, we have a number of run-off contracts whose float drifts downward. If we do experience a decline in float at some future time, it will be *very* gradual – at the outside no more than 2% in any year.

If our premiums exceed the total of our expenses and eventual losses, we register an underwriting profit that adds to the investment income our float produces. When such a profit is earned, we enjoy the use of free money – and, better yet, get *paid* for holding it. That's like your taking out a loan and having the bank pay *you* interest.

Unfortunately, the wish of all insurers to achieve this happy result creates intense competition, so vigorous in most years that it causes the P/C industry as a whole to operate at a significant underwriting *loss*. This loss, in effect, is what the industry pays to hold its float. For example, State Farm, by far the country's largest insurer and a well-managed company besides, incurred an underwriting loss in eight of the eleven years ending in 2011. (Their financials for 2012 are not yet available.) There are a lot of ways to lose money in insurance, and the industry never ceases searching for new ones.

As noted in the first section of this report, we have now operated at an underwriting profit for ten consecutive years, our pre-tax gain for the period having totaled $18.6 billion. Looking ahead, I believe we will continue to underwrite profitably in most years. If we do, our float will be better than free money.

So how does our attractive float affect the calculations of intrinsic value? When Berkshire's book value is calculated, the *full* amount of our float is deducted as a liability, just as if we had to pay it out tomorrow and were unable to replenish it. But that's an incorrect way to look at float, which should instead be viewed as a revolving fund. If float is both costless and long-enduring, which I believe Berkshire's will be, the true value of this liability is *dramatically* less than the accounting liability.

A partial offset to this overstated liability is $15.5 billion of "goodwill" that is attributable to our insurance companies and included in book value as an asset. In effect, this goodwill represents the price we paid for the float-generating capabilities of our insurance operations. The cost of the goodwill, however, has *no* bearing on its true value. For example, if an insurance business sustains large and prolonged underwriting losses, any goodwill asset carried on the books should be deemed valueless, whatever its original cost.

Fortunately, that's not the case at Berkshire. Charlie and I believe the true economic value of our insurance goodwill – what we would happily pay to purchase an insurance operation producing float *of similar quality* – to be far in excess of its historic carrying value. The value of our float is one reason – a huge reason – why we believe Berkshire's intrinsic business value substantially exceeds its book value.

Let me emphasize once again that cost-free float is *not* an outcome to be expected for the P/C industry as a whole: There is very little "Berkshire-quality" float existing in the insurance world. In 37 of the 45 years ending in 2011, the industry's premiums have been inadequate to cover claims plus expenses. Consequently, the industry's overall return on tangible equity has for many decades fallen far short of the average return realized by American industry, a sorry performance almost certain to continue.

A further unpleasant reality adds to the industry's dim prospects: Insurance earnings are now benefitting from "legacy" bond portfolios that deliver much higher yields than will be available when funds are reinvested during the next few years – and perhaps for many years beyond that. Today's bond portfolios are, in effect, wasting assets. Earnings of insurers will be hurt in a significant way as bonds mature and are rolled over.

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Berkshire's outstanding economics exist only because we have some terrific managers running some extraordinary insurance operations. Let me tell you about the major units.

First by float size is the Berkshire Hathaway Reinsurance Group, run by Ajit Jain. Ajit insures risks that no one else has the desire or the capital to take on. His operation combines capacity, speed, decisiveness and, most important, brains in a manner unique in the insurance business. Yet he never exposes Berkshire to risks that are inappropriate in relation to our resources. Indeed, we are *far* more conservative in avoiding risk than most large insurers. For example, if the insurance industry should experience a $250 billion loss from some mega-catastrophe – a loss about triple anything it has ever experienced – Berkshire as a whole would likely record a significant profit for the year because it has so many streams of earnings. All other major insurers and reinsurers would meanwhile be far in the red, with some facing insolvency.

From a standing start in 1985, Ajit has created an insurance business with float of $35 billion and a significant cumulative underwriting profit, a feat that no other insurance CEO has come close to matching. He has thus added a great many billions of dollars to the value of Berkshire. If you meet Ajit at the annual meeting, bow deeply.

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We have another reinsurance powerhouse in General Re, managed by Tad Montross.

At bottom, a sound insurance operation needs to adhere to four disciplines. It must (1) understand *all* exposures that might cause a policy to incur losses; (2) conservatively assess the likelihood of any exposure actually causing a loss and the probable cost if it does; (3) set a premium that, on average, will deliver a profit after both prospective loss costs and operating expenses are covered; and (4) be willing to walk away if the appropriate premium can't be obtained.

Many insurers pass the first three tests and flunk the fourth. They simply can't turn their back on business that is being eagerly written by their competitors. That old line, "The other guy is doing it, so we must as well," spells trouble in any business, but none more so than insurance.

Tad has observed all four of the insurance commandments, and it shows in his results. General Re's huge float has been better than cost-free under his leadership, and we expect that, on average, it will continue to be. We are particularly enthusiastic about General Re's international life reinsurance business, which has achieved consistent and profitable growth since we acquired the company in 1998.

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Finally, there is GEICO, the insurer on which I cut my teeth 62 years ago. GEICO is run by Tony Nicely, who joined the company at 18 and completed 51 years of service in 2012.

I rub my eyes when I look at what Tony has accomplished. Last year, it should be noted, his record was considerably better than is indicated by GEICO's GAAP underwriting profit of $680 million. Because of a change in accounting rules at the beginning of the year, we recorded a charge to GEICO's underwriting earnings of $410 million. This item had *nothing* to do with 2012's operating results, changing neither cash, revenues, expenses nor taxes. In effect, the writedown simply widened the already huge difference between GEICO's intrinsic value and the value at which we carry it on our books.

GEICO earned its underwriting profit, moreover, despite the company suffering its largest single loss in history. The cause was Hurricane Sandy, which cost GEICO more than three times the loss it sustained from Katrina, the previous record-holder. We insured 46,906 vehicles that were destroyed or damaged in the storm, a staggering number reflecting GEICO's leading market share in the New York metropolitan area.

Last year GEICO enjoyed a meaningful increase in both the renewal rate for existing policyholders ("persistency") and in the percentage of rate quotations that resulted in sales ("closures"). Big dollars ride on those two factors: A sustained gain in persistency of a bare one percentage point increases intrinsic value by more than $1 billion. GEICO's gains in 2012 offer dramatic proof that when people check the company's prices, they usually find they can save important sums. (Give us a try at 1-800-847-7536 or GEICO.com. Be sure to mention that you are a shareholder; that fact will usually result in a discount.)

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In addition to our three major insurance operations, we own a group of smaller companies, most of them plying their trade in odd corners of the insurance world. In aggregate, these companies have consistently delivered an underwriting profit. Moreover, as the table below shows, they also provide us with substantial float. Charlie and I treasure these companies and their managers.

Late in 2012, we enlarged this group by acquiring Guard Insurance, a Wilkes-Barre company that writes workers compensation insurance, primarily for smaller businesses. Guard's annual premiums total about $300 million. The company has excellent prospects for growth in both its traditional business and new lines it has begun to offer.

	Underwriting Profit		*Yearend Float*	
			(in millions)	
Insurance Operations	*2012*	*2011*	*2012*	*2011*
BH Reinsurance	$ 304	$(714)	$34,821	$33,728
General Re	355	144	20,128	19,714
GEICO	680*	576	11,578	11,169
Other Primary	286	242	6,598	5,960
	$1,625	$ 248	$73,125	$70,571

*After a $410 million charge against earnings arising from an industry-wide accounting change.

Among large insurance operations, Berkshire's impresses me as the best in the world. It was our lucky day when, in March 1967, Jack Ringwalt sold us his two property-casualty insurers for $8.6 million.

Regulated, Capital-Intensive Businesses

We have two major operations, BNSF and MidAmerican Energy, that have important common characteristics distinguishing them from our other businesses. Consequently, we assign them their own section in this letter and split out their combined financial statistics in our GAAP balance sheet and income statement.

A key characteristic of both companies is their huge investment in very long-lived, regulated assets, with these partially funded by large amounts of long-term debt that is *not* guaranteed by Berkshire. Our credit is in fact not needed because each business has earning power that even under terrible conditions amply covers its interest requirements. In last year's tepid economy, for example, BNSF's interest coverage was 9.6x. (Our definition of coverage is pre-tax earnings/interest, *not* EBITDA/interest, a commonly-used measure we view as deeply flawed.) At MidAmerican, meanwhile, two key factors ensure its ability to service debt under all circumstances: the company's recession-resistant earnings, which result from our exclusively offering an essential service, and its great diversity of earnings streams, which shield it from being seriously harmed by any single regulatory body.

Every day, our two subsidiaries power the American economy in major ways:

- BNSF carries about 15% (measured by ton-miles) of *all* inter-city freight, whether it is transported by truck, rail, water, air, or pipeline. Indeed, we move more ton-miles of goods than *anyone* else, a fact making BNSF the most important artery in our economy's circulatory system.

  BNSF also moves its cargo in an extraordinarily fuel-efficient and environmentally friendly way, carrying a ton of freight about 500 miles on a single gallon of diesel fuel. Trucks taking on the same job guzzle about four times as much fuel.

- MidAmerican's electric utilities serve regulated retail customers in ten states. Only one utility holding company serves more states. In addition, we are the leader in renewables: first, from a standing start nine years ago, we now account for 6% of the country's wind generation capacity. Second, when we complete three projects now under construction, we will own about 14% of U.S. solar-generation capacity.

Projects like these require huge capital investments. Upon completion, indeed, our renewables portfolio will have cost $13 billion. We relish making such commitments if they promise reasonable returns – and on that front, we put a large amount of trust in future regulation.

Our confidence is justified both by our past experience and by the knowledge that society will forever need massive investment in both transportation and energy. It is in the self-interest of governments to treat capital providers in a manner that will ensure the continued flow of funds to essential projects. And it is in our self-interest to conduct our operations in a manner that earns the approval of our regulators and the people they represent.

Our managers must think today of what the country will need far down the road. Energy and transportation projects can take many years to come to fruition; a growing country simply can't afford to get behind the curve.

We have been doing our part to make sure that doesn't happen. Whatever you may have heard about our country's crumbling infrastructure in no way applies to BNSF or railroads generally. America's rail system has never been in better shape, a consequence of huge investments by the industry. We are not, however, resting on our laurels: BNSF will spend about $4 billion on the railroad in 2013, roughly double its depreciation charge and more than any railroad has spent in a single year.

In Matt Rose, at BNSF, and Greg Abel, at MidAmerican, we have two outstanding CEOs. They are extraordinary managers who have developed businesses that serve both their customers and owners well. Each has my gratitude and each deserves yours. Here are the key figures for their businesses:

MidAmerican (89.8% owned)	*Earnings (in millions)*	
	2012	*2011*
U.K. utilities	$ 429	$ 469
Iowa utility	236	279
Western utilities	737	771
Pipelines	383	388
HomeServices	82	39
Other (net)	91	36
Operating earnings before corporate interest and taxes	1,958	1,982
Interest	314	336
Income taxes	172	315
Net earnings	$ 1,472	$ 1,331
Earnings applicable to Berkshire	$ 1,323	$ 1,204

BNSF	*Earnings (in millions)*	
	2012	*2011*
Revenues	$20,835	$19,548
Operating expenses	14,835	14,247
Operating earnings before interest and taxes	6,000	5,301
Interest (net)	623	560
Income taxes	2,005	1,769
Net earnings	$ 3,372	$ 2,972

Sharp-eyed readers will notice an incongruity in the MidAmerican earnings tabulation. What in the world is HomeServices, a real estate brokerage operation, doing in a section entitled "Regulated, Capital-Intensive Businesses?"

Well, its ownership came with MidAmerican when we bought control of that company in 2000. At that time, I focused on MidAmerican's utility operations and barely noticed HomeServices, which then owned only a few real estate brokerage companies.

Since then, however, the company has regularly added residential brokers – three in 2012 – and now has about 16,000 agents in a string of major U.S. cities. (Our real estate brokerage companies are listed on page 107.) In 2012, our agents participated in $42 billion of home sales, up 33% from 2011.

Additionally, HomeServices last year purchased 67% of the Prudential and Real Living franchise operations, which together license 544 brokerage companies throughout the country and receive a small royalty on their sales. We have an arrangement to purchase the balance of those operations within five years. In the coming years, we will gradually rebrand both our franchisees and the franchise firms we own as Berkshire Hathaway HomeServices.

Ron Peltier has done an outstanding job in managing HomeServices during a depressed period. Now, as the housing market continues to strengthen, we expect earnings to rise significantly.

Manufacturing, Service and Retailing Operations

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/12 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 5,338	Notes payable	$ 1,454
Accounts and notes receivable	7,382	Other current liabilities	8,527
Inventory	9,675	Total current liabilities	9,981
Other current assets	734		
Total current assets	23,129		
		Deferred taxes	4,907
Goodwill and other intangibles	26,017	Term debt and other liabilities	5,826
Fixed assets	18,871	Non-controlling interests	2,062
Other assets	3,416	Berkshire equity	48,657
	$71,433		$71,433

Earnings Statement (in millions)

	2012	*2011**	*2010*
Revenues	$83,255	$72,406	$66,610
Operating expenses	76,978	67,239	62,225
Interest expense	146	130	111
Pre-tax earnings	6,131	5,037	4,274
Income taxes and non-controlling interests	2,432	1,998	1,812
Net earnings	$ 3,699	$ 3,039	$ 2,462

*Includes earnings of Lubrizol from September 16.

Our income and expense data conforming to Generally Accepted Accounting Principles ("GAAP") is on page 29. In contrast, the operating expense figures above are non-GAAP. In particular, they exclude some purchase-accounting items, primarily the amortization of certain intangible assets. We present the data in this manner because Charlie and I believe the adjusted numbers more accurately reflect the real expenses and profits of the businesses aggregated in the table.

I won't explain all of the adjustments – some are small and arcane – but serious investors should understand the disparate nature of intangible assets: Some truly deplete over time while others never lose value. With software, for example, amortization charges are very real expenses. Charges against other intangibles such as the amortization of customer relationships, however, arise through purchase-accounting rules and are clearly not real expenses. GAAP accounting draws no distinction between the two types of charges. Both, that is, are recorded as expenses when calculating earnings – even though from an investor's viewpoint they could not be more different.

In the GAAP-compliant figures we show on page 29, amortization charges of $600 million for the companies included in this section are deducted as expenses. We would call about 20% of these "real" – and indeed that is the portion we have included in the table above – and the rest not. This difference has become significant because of the many acquisitions we have made.

"Non-real" amortization expense also looms large at some of our major investees. IBM has made many small acquisitions in recent years and now regularly reports "adjusted operating earnings," a non-GAAP figure that excludes certain purchase-accounting adjustments. Analysts focus on this number, as they should.

A "non-real" amortization charge at Wells Fargo, however, is not highlighted by the company and never, to my knowledge, has been noted in analyst reports. The earnings that Wells Fargo reports are heavily burdened by an "amortization of core deposits" charge, the implication being that these deposits are disappearing at a fairly rapid clip. Yet core deposits regularly *increase*. The charge last year was about $1.5 billion. In *no* sense, except GAAP accounting, is this whopping charge an expense.

And that ends today's accounting lecture. Why is no one shouting "More, more?"

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The crowd of companies in this section sell products ranging from lollipops to jet airplanes. Some of the businesses enjoy terrific economics, measured by earnings on unleveraged net *tangible* assets that run from 25% after-tax to more than 100%. Others produce good returns in the area of 12-20%. A few, however, have very poor returns, a result of some serious mistakes I made in my job of capital allocation.

More than 50 years ago, Charlie told me that it was far better to buy a wonderful business at a fair price than to buy a fair business at a wonderful price. Despite the compelling logic of his position, I have sometimes reverted to my old habit of bargain-hunting, with results ranging from tolerable to terrible. Fortunately, my mistakes have usually occurred when I made smaller purchases. Our large acquisitions have generally worked out well and, in a few cases, more than well.

Viewed as a single entity, therefore, the companies in this group are an excellent business. They employ $22.6 billion of net tangible assets and, on that base, earned 16.3% after-tax.

Of course, a business with terrific economics can be a bad investment if the price paid is excessive. We have paid substantial premiums to net tangible assets for most of our businesses, a cost that is reflected in the large figure we show for intangible assets. Overall, however, we are getting a decent return on the capital we have deployed in this sector. Furthermore, the intrinsic value of the businesses, in aggregate, exceeds their carrying value by a good margin. Even so, the difference between intrinsic value and carrying value in the insurance and regulated-industry segments is *far* greater. It is there that the huge winners reside.

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Marmon provides an example of a clear and substantial gap existing between book value and intrinsic value. Let me explain the odd origin of this differential.

Last year I told you that we had purchased additional shares in Marmon, raising our ownership to 80% (up from the 64% we acquired in 2008). I also told you that GAAP accounting required us to immediately record the 2011 purchase on our books at far less than what we paid. I've now had a year to think about this weird accounting rule, but I've yet to find an explanation that makes *any* sense – nor can Charlie or Marc Hamburg, our CFO, come up with one. My confusion increases when I am told that if we hadn't already owned 64%, the 16% we purchased in 2011 would have been entered on our books at our cost.

In 2012 (and in early 2013, retroactive to yearend 2012) we acquired an additional 10% of Marmon and the same bizarre accounting treatment was required. The $700 million write-off we immediately incurred had no effect on earnings but did reduce book value and, therefore, 2012's gain in net worth.

The cost of our recent 10% purchase implies a $12.6 billion value for the 90% of Marmon we now own. Our balance-sheet carrying value for the 90%, however, is $8 billion. Charlie and I believe our current purchase represents excellent value. If we are correct, our Marmon holding is worth at least $4.6 billion more than its carrying value.

Marmon is a diverse enterprise, comprised of about 150 companies operating in a wide variety of industries. Its largest business involves the ownership of tank cars that are leased to a variety of shippers, such as oil and chemical companies. Marmon conducts this business through two subsidiaries, Union Tank Car in the U.S. and Procor in Canada.

Union Tank Car has been around a long time, having been owned by the Standard Oil Trust until that empire was broken up in 1911. Look for its UTLX logo on tank cars when you watch trains roll by. As a Berkshire shareholder, you own the cars with that insignia. When you spot a UTLX car, puff out your chest a bit and enjoy the same satisfaction that John D. Rockefeller undoubtedly experienced as he viewed *his* fleet a century ago.

Tank cars are owned by either shippers or lessors, not by railroads. At yearend Union Tank Car and Procor together owned 97,000 cars having a net book value of $4 billion. A new car, it should be noted, costs upwards of $100,000. Union Tank Car is also a major manufacturer of tank cars – some of them to be sold but most to be owned by it and leased out. Today, its order book extends well into 2014.

At both BNSF and Marmon, we are benefitting from the resurgence of U.S. oil production. In fact, our railroad is now transporting about 500,000 barrels of oil daily, roughly 10% of the total produced in the "lower 48" (i.e. not counting Alaska and offshore). All indications are that BNSF's oil shipments will grow substantially in coming years.

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Space precludes us from going into detail about the many other businesses in this segment. Company-specific information about the 2012 operations of some of the larger units appears on pages 76 to 79.

Finance and Financial Products

This sector, our smallest, includes two rental companies, XTRA (trailers) and CORT (furniture), as well as Clayton Homes, the country's leading producer and financer of manufactured homes. Aside from these 100%-owned subsidiaries, we also include in this category a collection of financial assets and our 50% interest in Berkadia Commercial Mortgage.

We include Clayton in this sector because it owns and services 332,000 mortgages, totaling $13.7 billion. In large part, these loans have been made to lower and middle-income families. Nevertheless, the loans have performed well throughout the housing collapse, thereby validating our conviction that a reasonable down payment and a sensible payments-to-income ratio will ward off outsized foreclosure losses, even during stressful times.

Clayton also produced 25,872 manufactured homes last year, up 13.5% from 2011. That output accounted for about 4.8% of all single-family residences built in the country, a share that makes Clayton America's number one homebuilder.

CORT and XTRA are leaders in their industries as well. Our expenditures for new rental equipment at XTRA totaled $256 million in 2012, more than double its depreciation expense. While competitors fret about today's uncertainties, XTRA is preparing for tomorrow.

Berkadia continues to do well. Our partners at Leucadia do most of the work in this venture, an arrangement that Charlie and I happily embrace.

Here's the pre-tax earnings recap for this sector:

	2012	*2011*
	(in millions)	
Berkadia	$ 35	$ 25
Clayton	255	154
CORT	42	29
XTRA	106	126
Net financial income*	410	440
	$848	$774

*Excludes capital gains or losses

Investments

Below we show our common stock investments that at yearend had a market value of more than $1 billion.

			12/31/12	
Shares	*Company*	*Percentage of Company Owned*	*Cost**	*Market*
			(in millions)	
151,610,700	American Express Company	13.7	$ 1,287	$ 8,715
400,000,000	The Coca-Cola Company	8.9	1,299	14,500
24,123,911	ConocoPhillips	2.0	1,219	1,399
22,999,600	DIRECTV	3.8	1,057	1,154
68,115,484	International Business Machines Corp.	6.0	11,680	13,048
28,415,250	Moody's Corporation	12.7	287	1,430
20,060,390	Munich Re	11.3	2,990	3,599
20,668,118	Phillips 66	3.3	660	1,097
3,947,555	POSCO	5.1	768	1,295
52,477,678	The Procter & Gamble Company	1.9	336	3,563
25,848,838	Sanofi	2.0	2,073	2,438
415,510,889	Tesco plc	5.2	2,350	2,268
78,060,769	U.S. Bancorp	4.2	2,401	2,493
54,823,433	Wal-Mart Stores, Inc.	1.6	2,837	3,741
456,170,061	Wells Fargo & Company	8.7	10,906	15,592
	Others		7,646	11,330
	Total Common Stocks Carried at Market		$49,796	$87,662

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required.

One point about the composition of this list deserves mention. In Berkshire's past annual reports, every stock itemized in this space has been bought by me, in the sense that I made the decision to buy it for Berkshire. But starting with this list, any investment made by Todd Combs or Ted Weschler – or a combined purchase by them – that meets the dollar threshold for the list ($1 billion this year) will be included. Above is the first such stock, DIRECTV, which both Todd and Ted hold in their portfolios and whose combined holdings at the end of 2012 were valued at the $1.15 billion shown.

Todd and Ted also manage the pension funds of certain Berkshire subsidiaries, while others, for regulatory reasons, are managed by outside advisers. We do not include holdings of the pension funds in our annual report tabulations, though their portfolios often overlap Berkshire's.

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We continue to wind down the part of our derivatives portfolio that involved the assumption by Berkshire of insurance-like risks. (Our electric and gas utility businesses, however, will continue to use derivatives for operational purposes.) New commitments would require us to post collateral and, with minor exceptions, we are unwilling to do that. Markets can behave in extraordinary ways, and we have no interest in exposing Berkshire to some out-of-the-blue event in the financial world that might require our posting mountains of cash on a moment's notice.

Charlie and I believe in operating with many redundant layers of liquidity, and we avoid any sort of obligation that could drain our cash in a material way. That reduces our returns in 99 years out of 100. But we will survive in the 100th while many others fail. And we will sleep well in all 100.

The derivatives we have sold that provide credit protection for corporate bonds will all expire in the next year. It's now almost certain that our profit from these contracts will approximate $1 billion pre-tax. We also received very substantial sums upfront on these derivatives, and the "float" attributable to them has averaged about $2 billion over their five-year lives. All told, these derivatives have provided a more-than-satisfactory result, especially considering the fact that we were guaranteeing corporate credits – mostly of the high-yield variety – throughout the financial panic and subsequent recession.

In our other major derivatives commitment, we sold long-term puts on four leading stock indices in the U.S., U.K., Europe and Japan. These contracts were initiated between 2004 and 2008 and even under the worst of circumstances have only minor collateral requirements. In 2010 we unwound about 10% of our exposure at a profit of $222 million. The remaining contracts expire between 2018 and 2026. Only the index value at expiration date counts; our counterparties have no right to early termination.

Berkshire received premiums of $4.2 billion when we wrote the contracts that remain outstanding. If all of these contracts had come due at yearend 2011, we would have had to pay $6.2 billion; the corresponding figure at yearend 2012 was $3.9 billion. With this large drop in immediate settlement liability, we reduced our GAAP liability at yearend 2012 to $7.5 billion from $8.5 billion at the end of 2011. Though it's no sure thing, Charlie and I believe it likely that the final liability will be considerably less than the amount we currently carry on our books. In the meantime, we can invest the $4.2 billion of float derived from these contracts as we see fit.

We Buy Some Newspapers . . . Newspapers?

During the past fifteen months, we acquired 28 daily newspapers at a cost of $344 million. This may puzzle you for two reasons. First, I have long told you in these letters and at our annual meetings that the circulation, advertising and profits of the newspaper industry overall are *certain* to decline. That prediction still holds. Second, the properties we purchased fell far short of meeting our oft-stated size requirements for acquisitions.

We can address the second point easily. Charlie and I love newspapers and, *if their economics make sense*, will buy them even when they fall far short of the size threshold we would require for the purchase of, say, a widget company. Addressing the first point requires me to provide a more elaborate explanation, including some history.

News, to put it simply, is what people don't know that they want to know. And people will seek their news – what's important to *them* – from whatever sources provide the best combination of immediacy, ease of access, reliability, comprehensiveness and low cost. The relative importance of these factors varies with the nature of the news and the person wanting it.

Before television and the Internet, newspapers were the *primary* source for an incredible variety of news, a fact that made them indispensable to a very high percentage of the population. Whether your interests were international, national, local, sports or financial quotations, your newspaper usually was first to tell you the latest information. Indeed, your paper contained so much you wanted to learn that you received your money's worth, even if only a small number of its pages spoke to your specific interests. Better yet, advertisers typically paid almost all of the product's cost, and readers rode their coattails.

Additionally, the ads themselves delivered information of vital interest to hordes of readers, in effect providing even more "news." Editors would cringe at the thought, but for many readers learning what jobs or apartments were available, what supermarkets were carrying which weekend specials, or what movies were showing where and when was far more important than the views expressed on the editorial page.

In turn, the local paper was indispensable to advertisers. If Sears or Safeway built stores in Omaha, they required a "megaphone" to tell the city's residents why their stores should be visited *today*. Indeed, big department stores and grocers vied to outshout their competition with multi-page spreads, knowing that the goods they advertised would fly off the shelves. With no other megaphone remotely comparable to that of the newspaper, ads sold themselves.

As long as a newspaper was the only one in its community, its profits were certain to be extraordinary; whether it was managed well or poorly made little difference. (As one Southern publisher famously confessed, "I owe my exalted position in life to two great American institutions – nepotism and monopoly.")

Over the years, almost all cities became one-newspaper towns (or harbored two competing papers that joined forces to operate as a single economic unit). This contraction was inevitable because most people wished to read and pay for only one paper. When competition existed, the paper that gained a significant lead in circulation almost automatically received the most ads. That left ads drawing readers and readers drawing ads. This symbiotic process spelled doom for the weaker paper and became known as "survival of the fattest."

Now the world has changed. Stock market quotes and the details of national sports events are old news long before the presses begin to roll. The Internet offers extensive information about both available jobs and homes. Television bombards viewers with political, national and international news. In one area of interest after another, newspapers have therefore lost their "primacy." And, as their audiences have fallen, so has advertising. (Revenues from "help wanted" classified ads – long a huge source of income for newspapers – have plunged more than 90% in the past 12 years.)

Newspapers continue to reign supreme, however, in the delivery of local news. If you want to know what's going on in *your* town – whether the news is about the mayor or taxes or high school football – there is no substitute for a local newspaper that is doing its job. A reader's eyes may glaze over after they take in a couple of paragraphs about Canadian tariffs or political developments in Pakistan; a story about the reader himself or his neighbors will be read to the end. Wherever there is a pervasive sense of community, a paper that serves the special informational needs of that community will remain indispensable to a significant portion of its residents.

Even a valuable product, however, can self-destruct from a faulty business strategy. And that process has been underway during the past decade at almost all papers of size. Publishers – including Berkshire in Buffalo – have offered their paper free on the Internet while charging meaningful sums for the physical specimen. How could this lead to anything other than a sharp and steady drop in sales of the printed product? Falling circulation, moreover, makes a paper less essential to advertisers. Under these conditions, the "virtuous circle" of the past reverses.

The Wall Street Journal went to a pay model early. But the main exemplar for local newspapers is the *Arkansas Democrat-Gazette*, published by Walter Hussman, Jr. Walter also adopted a pay format early, and over the past decade his paper has retained its circulation far better than any other large paper in the country. Despite Walter's powerful example, it's only been in the last year or so that other papers, including Berkshire's, have explored pay arrangements. Whatever works best – and the answer is not yet clear – will be copied widely.

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Charlie and I believe that papers delivering comprehensive and reliable information to tightly-bound communities *and* having a sensible Internet strategy will remain viable for a long time. We do not believe that success will come from cutting either the news content or frequency of publication. Indeed, skimpy news coverage will almost certainly lead to skimpy readership. And the less-than-daily publication that is now being tried in some large towns or cities – while it may improve profits in the short term – seems certain to diminish the papers' relevance over time. Our goal is to keep our papers loaded with content of interest to our readers and to be paid appropriately by those who find us useful, whether the product they view is in their hands or on the Internet.

Our confidence is buttressed by the availability of Terry Kroeger's outstanding management group at the *Omaha World-Herald*, a team that has the ability to oversee a large group of papers. The individual papers, however, will be independent in their news coverage and editorial opinions. (I voted for Obama; of our 12 dailies that endorsed a presidential candidate, 10 opted for Romney.)

Our newspapers are certainly not insulated from the forces that have been driving revenues downward. Still, the six small dailies we owned throughout 2012 had unchanged revenues for the year, a result far superior to that experienced by big-city dailies. Moreover, the two large papers we operated throughout the year – *The Buffalo News* and the *Omaha World-Herald* – held their revenue loss to 3%, which was also an above-average outcome. Among newspapers in America's 50 largest metropolitan areas, our Buffalo and Omaha papers rank near the top in circulation penetration of their home territories.

This popularity is no accident: Credit the editors of those papers – Margaret Sullivan at the *News* and Mike Reilly at the *World-Herald* — for delivering information that has made their publications indispensable to community-interested readers. (Margaret, I regret to say, recently left us to join *The New York Times*, whose job offers are tough to turn down. That paper made a great hire, and we wish her the best.)

Berkshire's cash earnings from its papers will almost certainly trend downward over time. Even a sensible Internet strategy will not be able to prevent modest erosion. At our cost, however, I believe these papers will meet or exceed our economic test for acquisitions. Results to date support that belief.

Charlie and I, however, still operate under economic principle 11 (detailed on page 99) and will not continue the operation of *any* business doomed to unending losses. One daily paper that we acquired in a bulk purchase from Media General was significantly unprofitable under that company's ownership. After analyzing the paper's results, we saw no remedy for the losses and reluctantly shut it down. All of our remaining dailies, however, should be profitable for a long time to come. (They are listed on page 108.) At appropriate prices – and that means at a *very* low multiple of current earnings – we will purchase more papers of the type we like.

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A milestone in Berkshire's newspaper operations occurred at yearend when Stan Lipsey retired as publisher of *The Buffalo News*. It's no exaggeration for me to say that the *News* might now be extinct were it not for Stan.

Charlie and I acquired the *News* in April 1977. It was an evening paper, dominant on weekdays but lacking a Sunday edition. Throughout the country, the circulation trend was toward morning papers. Moreover, Sunday was becoming ever more critical to the profitability of metropolitan dailies. Without a Sunday paper, the *News* was destined to lose out to its morning competitor, which had a fat and entrenched Sunday product.

We therefore began to print a Sunday edition late in 1977. And then all hell broke loose. Our competitor sued us, and District Judge Charles Brieant, Jr. authored a harsh ruling that crippled the introduction of our paper. His ruling was later reversed – after 17 long months – in a 3-0 sharp rebuke by the Second Circuit Court of Appeals. While the appeal was pending, we lost circulation, hemorrhaged money and stood in constant danger of going out of business.

Enter Stan Lipsey, a friend of mine from the 1960s, who, with his wife, had sold Berkshire a small Omaha weekly. I found Stan to be an extraordinary newspaperman, knowledgeable about every aspect of circulation, production, sales and editorial. (He was a key person in gaining that small weekly a Pulitzer Prize in 1973.) So when I was in big trouble at the *News*, I asked Stan to leave his comfortable way of life in Omaha to take over in Buffalo.

He never hesitated. Along with Murray Light, our editor, Stan persevered through four years of very dark days until the *News* won the competitive struggle in 1982. Ever since, despite a difficult Buffalo economy, the performance of the *News* has been exceptional. As both a friend and as a manager, Stan is simply the best.

Dividends

A number of Berkshire shareholders – including some of my good friends – would like Berkshire to pay a cash dividend. It puzzles them that we relish the dividends we receive from most of the stocks that Berkshire owns, but pay out nothing ourselves. So let's examine when dividends do and don't make sense for shareholders.

A profitable company can allocate its earnings in various ways (which are not mutually exclusive). A company's management should first examine reinvestment possibilities offered by its current business – projects to become more efficient, expand territorially, extend and improve product lines or to otherwise widen the economic moat separating the company from its competitors.

I ask the managers of our subsidiaries to unendingly focus on moat-widening opportunities, and they find many that make economic sense. But sometimes our managers misfire. The usual cause of failure is that they start with the answer they want and then work backwards to find a supporting rationale. Of course, the process is subconscious; that's what makes it so dangerous.

Your chairman has not been free of this sin. In Berkshire's 1986 annual report, I described how twenty years of management effort and capital improvements in our original textile business were an exercise in futility. I *wanted* the business to succeed and *wished* my way into a series of bad decisions. (I even bought *another* New England textile company.) But wishing makes dreams come true only in Disney movies; it's poison in business.

Despite such past miscues, our first priority with available funds will always be to examine whether they can be *intelligently* deployed in our various businesses. Our record $12.1 billion of fixed-asset investments and bolt-on acquisitions in 2012 demonstrate that this is a fertile field for capital allocation at Berkshire. And here we have an advantage: Because we operate in so many areas of the economy, we enjoy a range of choices far wider than that open to most corporations. In deciding what to do, we can water the flowers and skip over the weeds.

Even after we deploy hefty amounts of capital in our current operations, Berkshire will regularly generate a lot of additional cash. Our next step, therefore, is to search for acquisitions unrelated to our current businesses. Here our test is simple: Do Charlie and I think we can effect a transaction that is likely to leave our shareholders wealthier on a per-share basis than they were prior to the acquisition?

I have made plenty of mistakes in acquisitions and will make more. Overall, however, our record is satisfactory, which means that our shareholders are *far* wealthier today than they would be if the funds we used for acquisitions had instead been devoted to share repurchases or dividends.

But, to use the standard disclaimer, past performance is no guarantee of future results. That's particularly true at Berkshire: Because of our present size, making acquisitions that are both meaningful and sensible is now more difficult than it has been during most of our years.

Nevertheless, a large deal still offers us possibilities to add materially to per-share intrinsic value. BNSF is a case in point: It is now worth considerably more than our carrying value. Had we instead allocated the funds required for this purchase to dividends or repurchases, you and I would have been worse off. Though large transactions of the BNSF kind will be rare, there are still some whales in the ocean.

The third use of funds – repurchases – is sensible for a company when its shares sell at a meaningful discount to conservatively calculated intrinsic value. Indeed, disciplined repurchases are the *surest* way to use funds intelligently: It's hard to go wrong when you're buying dollar bills for 80¢ or less. We explained our criteria for repurchases in last year's report and, if the opportunity presents itself, we will buy large quantities of our stock. We originally said we would not pay more than 110% of book value, but that proved unrealistic. Therefore, we increased the limit to 120% in December when a large block became available at about 116% of book value.

But never forget: In repurchase decisions, price is all-important. Value is *destroyed* when purchases are made above intrinsic value. The directors and I believe that continuing shareholders are benefitted in a meaningful way by purchases up to our 120% limit.

And that brings us to dividends. Here we have to make a few assumptions and use some math. The numbers will require careful reading, but they are essential to understanding the case for and against dividends. So bear with me.

We'll start by assuming that you and I are the equal owners of a business with $2 million of net worth. The business earns 12% on tangible net worth – $240,000 – and can reasonably expect to earn the same 12% on reinvested earnings. Furthermore, there are outsiders who always wish to buy into our business at 125% of net worth. Therefore, the value of what we each own is now $1.25 million.

You would like to have the two of us shareholders receive one-third of our company's annual earnings and have two-thirds be reinvested. That plan, you feel, will nicely balance your needs for both current income and capital growth. So you suggest that we pay out $80,000 of current earnings and retain $160,000 to increase the future earnings of the business. In the first year, your dividend would be $40,000, and as earnings grew and the one-third payout was maintained, so too would your dividend. In total, dividends and stock value would increase 8% each year (12% earned on net worth less 4% of net worth paid out).

After ten years our company would have a net worth of $4,317,850 (the original $2 million compounded at 8%) and your dividend in the upcoming year would be $86,357. Each of us would have shares worth $2,698,656 (125% of our half of the company's net worth). And we would live happily ever after – with dividends and the value of our stock continuing to grow at 8% annually.

There is an alternative approach, however, that would leave us even happier. Under this scenario, we would leave *all* earnings in the company and each sell 3.2% of our shares annually. Since the shares would be sold at 125% of book value, this approach would produce the same $40,000 of cash initially, a sum that would grow annually. Call this option the "sell-off" approach.

Under this "sell-off" scenario, the net worth of our company increases to $6,211,696 after ten years ($2 million compounded at 12%). Because we would be selling shares each year, our *percentage* ownership would have declined, and, after ten years, we would each own 36.12% of the business. Even so, your share of the net worth of the company at that time would be $2,243,540. And, remember, every dollar of net worth attributable to each of us can be sold for $1.25. Therefore, the market value of your remaining shares would be $2,804,425, about 4% greater than the value of your shares if we had followed the dividend approach.

Moreover, your annual cash receipts from the sell-off policy would now be running 4% more than you would have received under the dividend scenario. Voila! – you would have both more cash to spend annually *and* more capital value.

This calculation, of course, assumes that our hypothetical company can earn an average of 12% annually on net worth and that its shareholders can sell their shares for an average of 125% of book value. To that point, the S&P 500 earns considerably more than 12% on net worth and sells at a price far above 125% of that net worth. Both assumptions also seem reasonable for Berkshire, though certainly not assured.

Moreover, on the plus side, there also is a possibility that the assumptions will be exceeded. If they are, the argument for the sell-off policy becomes even stronger. Over Berkshire's history – admittedly one that won't come close to being repeated – the sell-off policy would have produced results for shareholders *dramatically* superior to the dividend policy.

Aside from the favorable math, there are two further – *and important* – arguments for a sell-off policy. First, dividends impose a specific cash-out policy upon all shareholders. If, say, 40% of earnings is the policy, those who wish 30% or 50% will be thwarted. Our 600,000 shareholders cover the waterfront in their desires for cash. It is safe to say, however, that a great many of them – perhaps even most of them – are in a net-savings mode and logically should prefer no payment at all.

The sell-off alternative, on the other hand, lets each shareholder make his own choice between cash receipts and capital build-up. One shareholder can elect to cash out, say, 60% of annual earnings while other shareholders elect 20% or nothing at all. Of course, a shareholder in our dividend-paying scenario could turn around and use his dividends to purchase more shares. But he would take a beating in doing so: He would both incur taxes and also pay a 25% premium to get his dividend reinvested. (Keep remembering, open-market purchases of the stock take place at 125% of book value.)

The second disadvantage of the dividend approach is of equal importance: The tax consequences for *all* taxpaying shareholders are inferior – usually *far* inferior – to those under the sell-off program. Under the dividend program, all of the cash received by shareholders each year is taxed whereas the sell-off program results in tax on only the gain portion of the cash receipts.

Let me end this math exercise – and I can hear you cheering as I put away the dentist drill – by using my own case to illustrate how a shareholder's regular disposals of shares can be accompanied by an *increased* investment in his or her business. For the last seven years, I have annually given away about 4¼% of my Berkshire shares. Through this process, my original position of 712,497,000 B-equivalent shares (split-adjusted) has decreased to 528,525,623 shares. Clearly my ownership *percentage* of the company has significantly decreased.

Yet my investment in the business has actually increased: The book value of my current interest in Berkshire considerably exceeds the book value attributable to my holdings of seven years ago. (The actual figures are $28.2 billion for 2005 and $40.2 billion for 2012.) In other words, I now have *far* more money working for me at Berkshire even though my ownership of the company has materially decreased. It's also true that my share of both Berkshire's intrinsic business value and the company's normal earning power is far greater than it was in 2005. Over time, I expect this accretion of value to continue – albeit in a decidedly irregular fashion – even as I now annually give away more than 4½% of my shares (the increase having occurred because I've recently doubled my lifetime pledges to certain foundations).

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Above all, dividend policy should always be clear, consistent and rational. A capricious policy will confuse owners and drive away would-be investors. Phil Fisher put it wonderfully 54 years ago in Chapter 7 of his *Common Stocks and Uncommon Profits*, a book that ranks behind only *The Intelligent Investor* and the 1940 edition of *Security Analysis* in the all-time-best list for the serious investor. Phil explained that you can successfully run a restaurant that serves hamburgers or, alternatively, one that features Chinese food. But you can't switch capriciously between the two and retain the fans of either.

Most companies pay consistent dividends, generally trying to increase them annually and cutting them very reluctantly. Our "Big Four" portfolio companies follow this sensible and understandable approach and, in certain cases, also repurchase shares quite aggressively.

We applaud their actions and hope they continue on their present paths. We like increased dividends, and we love repurchases at appropriate prices.

At Berkshire, however, we have consistently followed a different approach that we know has been sensible and that we hope has been made understandable by the paragraphs you have just read. We will stick with this policy as long as we believe our assumptions about the book-value buildup and the market-price premium seem reasonable. If the prospects for either factor change materially for the worse, we will reexamine our actions.

The Annual Meeting

The annual meeting will be held on Saturday, May 4th at the CenturyLink Center. Carrie Sova will be in charge. (Though that's a new name, it's the same wonderful Carrie as last year; she got married in June to a very lucky guy.) All of our headquarters group pitches in to help her; the whole affair is a homemade production, and I couldn't be more proud of those who put it together.

The doors will open at 7 a.m., and at 7:30 we will have our second International Newspaper Tossing Challenge. The target will be the porch of a Clayton Home, precisely 35 feet from the throwing line. Last year I successfully fought off all challengers. But now Berkshire has acquired a large number of newspapers and with them came much tossing talent (or so the throwers claim). Come see whether their talent matches their talk. Better yet, join in. The papers will be 36 to 42 pages and you must fold them yourself (no rubber bands).

At 8:30, a new Berkshire movie will be shown. An hour later, we will start the question-and-answer period, which (with a break for lunch at the CenturyLink's stands) will last until 3:30. After a short recess, Charlie and I will convene the annual meeting at 3:45. If you decide to leave during the day's question periods, please do so while *Charlie* is talking.

The best reason to exit, of course, is to *shop*. We will help you do so by filling the 194,300-square-foot hall that adjoins the meeting area with products from dozens of Berkshire subsidiaries. Last year, you did your part, and most locations racked up record sales. In a nine-hour period, we sold 1,090 pairs of Justin boots, (that's a pair every 30 seconds), 10,010 pounds of See's candy, 12,879 Quikut knives (24 knives per minute) and 5,784 pairs of Wells Lamont gloves, always a hot item. But you can do better. Remember: Anyone who says money can't buy happiness simply hasn't shopped at our meeting.

Last year, Brooks, our running shoe company, exhibited for the first time and ran up sales of $150,000. Brooks is on fire: Its volume in 2012 grew 34%, and that was on top of a similar 34% gain in 2011. The company's management expects another jump of 23% in 2013. We will again have a special commemorative shoe to offer at the meeting.

On Sunday at 8 a.m., we will initiate the "Berkshire 5K," a race starting at the CenturyLink. Full details for participating will be included in the Visitor's Guide that you will receive with your credentials for the meeting. We will have plenty of categories for competition, including one for the media. (It will be fun to report on *their* performance.) Regretfully, I will forego running; *someone* has to man the starting gun.

I should warn you that we have a lot of home-grown talent. Ted Weschler has run the marathon in 3:01. Jim Weber, Brooks' dynamic CEO, is another speedster with a 3:31 best. Todd Combs specializes in the triathlon, but has been clocked at 22 minutes in the 5K.

That, however, is just the beginning: Our directors are also fleet of foot (that is, *some* of our directors are). Steve Burke has run an amazing 2:39 Boston marathon. (It's a family thing; his wife, Gretchen, finished the New York marathon in 3:25.) Charlotte Guyman's best is 3:37, and Sue Decker crossed the tape in New York in 3:36. Charlie did not return his questionnaire.

GEICO will have a booth in the shopping area, staffed by a number of its top counselors from around the country. Stop by for a quote. In most cases, GEICO will be able to give you a shareholder discount (usually 8%). This special offer is permitted by 44 of the 51 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another, such as that given certain groups.) Bring the details of your existing insurance and check out whether we can save you money. For at least half of you, I believe we can.

Be sure to visit the Bookworm. It will carry about 35 books and DVDs, including a couple of new ones. Carol Loomis, who has been invaluable to me in editing this letter since 1977, has recently authored *Tap Dancing to Work: Warren Buffett on Practically Everything*. She and I have cosigned 500 copies, available exclusively at the meeting.

The Outsiders, by William Thorndike, Jr., is an outstanding book about CEOs who excelled at capital allocation. It has an insightful chapter on our director, Tom Murphy, overall the best business manager I've ever met. I also recommend *The Clash of the Cultures* by Jack Bogle and Laura Rittenhouse's *Investing Between the Lines*. Should you need to ship your book purchases, a shipping service will be available nearby.

The *Omaha World-Herald* will again have a booth, offering a few books it has recently published. Red-blooded Husker fans – is there any Nebraskan who isn't one? – will surely want to purchase *Unbeatable*. It tells the story of Nebraska football during 1993-97, a golden era in which Tom Osborne's teams went 60-3.

If you are a big spender – or aspire to become one – visit Signature Aviation on the east side of the Omaha airport between noon and 5:00 p.m. on Saturday. There we will have a fleet of NetJets aircraft that will get your pulse racing. Come by bus; leave by private jet. Live a little.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. Airlines have sometimes jacked up prices for the Berkshire weekend. If you are coming from far away, compare the cost of flying to Kansas City versus Omaha. The drive between the two cities is about 2½ hours, and it may be that you can save significant money, particularly if you had planned to rent a car in Omaha. Spend the savings with us.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. Last year the store did $35.9 million of business during its annual meeting sale, an all-time record that makes other retailers turn green. To obtain the Berkshire discount, you must make your purchases between Tuesday, April 30th and Monday, May 6th inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m. to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m., NFM is having a picnic to which you are all invited.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 9 p.m. on Friday, May 3rd. The second, the main gala, will be held on Sunday, May 5th, from 9 a.m. to 4 p.m. On Saturday, we will be open until 6 p.m. In recent years, our three-day volume has far exceeded sales in all of December, normally a jeweler's best month.

Around 1 p.m. on Sunday, I will begin clerking at Borsheims. Last year my sales totaled $1.5 million. This year I won't quit until I hit $2 million. Because I need to leave well before sundown, I will be desperate to do business. Come take advantage of me. Ask for my "Crazy Warren" price.

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 29th through Saturday, May 11th. During that period, please identify yourself as a shareholder by presenting your meeting credentials or a brokerage statement that shows you are a Berkshire holder.

On Sunday, in the mall outside of Borsheims, a blindfolded Patrick Wolff, twice U.S. chess champion, will take on all comers – who will have their eyes wide open – in groups of six. Nearby, Norman Beck, a remarkable magician from Dallas, will bewilder onlookers. Additionally, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play bridge with our shareholders on Sunday afternoon. Don't play them for money.

Gorat's and Piccolo's will again be open exclusively for Berkshire shareholders on Sunday, May 5th. Both will be serving until 10 p.m., with Gorat's opening at 1 p.m. and Piccolo's opening at 4 p.m. These restaurants are my favorites, and I will eat at both of them on Sunday evening. Remember: To make a reservation at Gorat's, call 402-551-3733 on April 1st (*but not before*) and at Piccolo's call 402-342-9038. At Piccolo's, order a giant root beer float for dessert. Only sissies get the small one. (I once saw Bill Gates polish off two of the giant variety *after* a full-course dinner; that's when I knew he would make a great director.)

We will again have the same three financial journalists lead the question-and-answer period at the meeting, asking Charlie and me questions that shareholders have submitted to them by e-mail. The journalists and their e-mail addresses are: Carol Loomis, of Fortune, who may be emailed at cloomis@fortunemail.com; Becky Quick, of CNBC, at BerkshireQuestions@cnbc.com, and Andrew Ross Sorkin, of The New York Times, at arsorkin@nytimes.com.

From the questions submitted, each journalist will choose the six he or she decides are the most interesting and important. The journalists have told me your question has the best chance of being selected if you keep it concise, avoid sending it in at the last moment, make it Berkshire-related and include no more than two questions in any email you send them. (In your email, let the journalist know if you would like your name mentioned if your question is selected.)

Last year we had a second panel of three analysts who follow Berkshire. All were insurance specialists, and shareholders subsequently indicated they wanted a little more variety. Therefore, this year we will have one insurance analyst, Cliff Gallant of Nomura Securities. Jonathan Brandt of Ruane, Cunniff & Goldfarb will join the analyst panel to ask questions that deal with our non-insurance operations.

Finally – to spice things up – we would like to add to the panel a credentialed bear on Berkshire, preferably one who is short the stock. Not yet having a bear identified, we would like to hear from applicants. The only requirement is that you be an investment professional and negative on Berkshire. The three analysts will bring their own Berkshire-specific questions and alternate with the journalists and the audience in asking them.

Charlie and I believe that all shareholders should have access to new Berkshire information simultaneously and should also have adequate time to analyze it, which is why we try to issue financial information after the market close on a Friday and why our annual meeting is held on Saturdays. We do not talk one-on-one to large institutional investors or analysts. Our hope is that the journalists and analysts will ask questions that will further educate shareholders about their investment.

Neither Charlie nor I will get so much as a clue about the questions to be asked. We know the journalists and analysts will come up with some tough ones, and that's the way we like it. All told, we expect at least 54 questions, which will allow for six from each analyst and journalist and 18 from the audience. If there is some extra time, we will take more from the audience. Audience questioners will be determined by drawings that will take place at 8:15 a.m. at each of the 11 microphones located in the arena and main overflow room.

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For good reason, I regularly extol the accomplishments of our operating managers. They are truly All-Stars, who run their businesses as if they were the only asset owned by their families. I believe their mindset to be as shareholder-oriented as can be found in the universe of large publicly-owned companies. Most have no financial need to work; the joy of hitting business "home runs" means as much to them as their paycheck.

Equally important, however, are the 23 men and women who work with me at our corporate office (all on one floor, which is the way we intend to keep it!).

This group efficiently deals with a multitude of SEC and other regulatory requirements, files a 21,500-page Federal income tax return as well as state and foreign returns, responds to countless shareholder and media inquiries, gets out the annual report, prepares for the country's largest annual meeting, coordinates the Board's activities – and the list goes on and on.

They handle all of these business tasks cheerfully and with unbelievable efficiency, making my life easy and pleasant. Their efforts go beyond activities strictly related to Berkshire: Last year they dealt with 48 universities (selected from 200 applicants) who sent students to Omaha for a Q&A day with me. They also handle all kinds of requests that I receive, arrange my travel, and even get me hamburgers for lunch. No CEO has it better; I truly do feel like tap dancing to work every day.

This home office crew, along with our operating managers, has my deepest thanks and deserves yours as well. Come to Omaha – the cradle of capitalism – on May 4th and chime in.

March 1, 2013

Warren E. Buffett
Chairman of the Board

Berkshire's Corporate Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire (1)	Annual Percentage Change in S&P 500 with Dividends Included (2)	Relative Results (1)-(2)
1965	23.8	10.0	13.8
1966	20.3	(11.7)	32.0
1967	11.0	30.9	(19.9)
1968	19.0	11.0	8.0
1969	16.2	(8.4)	24.6
1970	12.0	3.9	8.1
1971	16.4	14.6	1.8
1972	21.7	18.9	2.8
1973	4.7	(14.8)	19.5
1974	5.5	(26.4)	31.9
1975	21.9	37.2	(15.3)
1976	59.3	23.6	35.7
1977	31.9	(7.4)	39.3
1978	24.0	6.4	17.6
1979	35.7	18.2	17.5
1980	19.3	32.3	(13.0)
1981	31.4	(5.0)	36.4
1982	40.0	21.4	18.6
1983	32.3	22.4	9.9
1984	13.6	6.1	7.5
1985	48.2	31.6	16.6
1986	26.1	18.6	7.5
1987	19.5	5.1	14.4
1988	20.1	16.6	3.5
1989	44.4	31.7	12.7
1990	7.4	(3.1)	10.5
1991	39.6	30.5	9.1
1992	20.3	7.6	12.7
1993	14.3	10.1	4.2
1994	13.9	1.3	12.6
1995	43.1	37.6	5.5
1996	31.8	23.0	8.8
1997	34.1	33.4	0.7
1998	48.3	28.6	19.7
1999	0.5	21.0	(20.5)
2000	6.5	(9.1)	15.6
2001	(6.2)	(11.9)	5.7
2002	10.0	(22.1)	32.1
2003	21.0	28.7	(7.7)
2004	10.5	10.9	(0.4)
2005	6.4	4.9	1.5
2006	18.4	15.8	2.6
2007	11.0	5.5	5.5
2008	(9.6)	(37.0)	27.4
2009	19.8	26.5	(6.7)
2010	13.0	15.1	(2.1)
2011	4.6	2.1	2.5
2012	14.4	16.0	(1.6)
2013	18.2	32.4	(14.2)
Compounded Annual Gain – 1965-2013	19.7%	9.8%	9.9
Overall Gain – 1964-2013	693,518%	9,841%	

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31. Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported. The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Berkshire's gain in net worth during 2013 was $34.2 billion. That gain was *after* our deducting $1.8 billion of charges – meaningless economically, as I will explain later – that arose from our purchase of the minority interests in Marmon and Iscar. After those charges, the per-share book value of both our Class A and Class B stock increased by 18.2%. Over the last 49 years (that is, since present management took over), book value has grown from $19 to $134,973, a rate of 19.7% compounded annually.*

On the facing page, we show our long-standing performance measurement: The yearly change in Berkshire's per-share book value versus the market performance of the S&P 500. What counts, of course, is per-share *intrinsic* value. But that's a subjective figure, and book value is useful as a rough tracking indicator. (An extended discussion of intrinsic value is included in our Owner-Related Business Principles on pages 103 - 108. Those principles have been included in our reports for 30 years, and we urge new and prospective shareholders to read them.)

As I've long told you, Berkshire's intrinsic value far exceeds its book value. Moreover, the difference has widened considerably in recent years. That's why our 2012 decision to authorize the repurchase of shares at 120% of book value made sense. Purchases at that level benefit continuing shareholders because per-share intrinsic value exceeds that percentage of book value by a meaningful amount. We did not purchase shares during 2013, however, because the stock price did not descend to the 120% level. If it does, we will be aggressive.

Charlie Munger, Berkshire's vice chairman and my partner, and I believe both Berkshire's book value and intrinsic value will outperform the S&P in years when the market is down or moderately up. We expect to fall short, though, in years when the market is strong – as we did in 2013. We have underperformed in ten of our 49 years, with all but one of our shortfalls occurring when the S&P gain exceeded 15%.

Over the stock market cycle between yearends 2007 and 2013, we overperformed the S&P. Through full cycles in future years, we expect to do that again. If we fail to do so, we will not have earned our pay. After all, you could always own an index fund and be assured of S&P results.

The Year at Berkshire

On the operating front, just about everything turned out well for us last year – in certain cases *very* well. Let me count the ways:

- We completed two large acquisitions, spending almost $18 billion to purchase all of NV Energy and a major interest in H. J. Heinz. Both companies fit us well and will be prospering a century from now.

  With the Heinz purchase, moreover, we created a partnership template that may be used by Berkshire in future acquisitions of size. Here, we teamed up with investors at 3G Capital, a firm led by my friend, Jorge Paulo Lemann. His talented associates – Bernardo Hees, Heinz's new CEO, and Alex Behring, its Chairman – are responsible for operations.

* All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/1500th of those shown for A.

Berkshire is the financing partner. In that role, we purchased $8 billion of Heinz preferred stock that carries a 9% coupon but also possesses other features that should increase the preferred's annual return to 12% or so. Berkshire and 3G each purchased half of the Heinz common stock for $4.25 billion.

Though the Heinz acquisition has some similarities to a "private equity" transaction, there is a crucial difference: Berkshire never intends to sell a share of the company. What we would like, rather, is to buy more, and that could happen: Certain 3G investors may sell some or all of their shares in the future, and we might increase our ownership at such times. Berkshire and 3G could also decide at some point that it would be mutually beneficial if we were to exchange some of our preferred for common shares (at an equity valuation appropriate to the time).

Our partnership took control of Heinz in June, and operating results so far are encouraging. Only minor earnings from Heinz, however, are reflected in those we report for Berkshire this year: One-time charges incurred in the purchase and subsequent restructuring of operations totaled $1.3 billion. Earnings in 2014 will be substantial.

With Heinz, Berkshire now owns 8½ companies that, were they stand-alone businesses, would be in the Fortune 500. Only 491½ to go.

NV Energy, purchased for $5.6 billion by MidAmerican Energy, our utility subsidiary, supplies electricity to about 88% of Nevada's population. This acquisition fits nicely into our existing electric-utility operation and offers many possibilities for large investments in renewable energy. NV Energy will *not* be MidAmerican's last major acquisition.

- MidAmerican is one of our "Powerhouse Five" – a collection of large non-insurance businesses that, in aggregate, had a record $10.8 billion of pre-tax earnings in 2013, up $758 million from 2012. The other companies in this sainted group are BNSF, Iscar, Lubrizol and Marmon.

  Of the five, only MidAmerican, then earning $393 million pre-tax, was owned by Berkshire nine years ago. Subsequently, we purchased another three of the five on an all-cash basis. In acquiring the fifth, BNSF, we paid about 70% of the cost in cash, and, for the remainder, issued shares that increased the number outstanding by 6.1%. In other words, the $10.4 billion gain in annual earnings delivered Berkshire by the five companies over the nine-year span has been accompanied by only minor dilution. That satisfies our goal of not simply growing, but rather increasing *per-share* results.

  If the U.S. economy continues to improve in 2014, we can expect earnings of our Powerhouse Five to improve also – perhaps by $1 billion or so pre-tax.

- Our many dozens of smaller non-insurance businesses earned $4.7 billion pre-tax last year, up from $3.9 billion in 2012. Here, too, we expect further gains in 2014.

- Berkshire's extensive insurance operation again operated at an underwriting profit in 2013 – that makes 11 years in a row – and increased its float. During that 11-year stretch, our float – money that doesn't belong to us but that we can invest for Berkshire's benefit – has grown from $41 billion to $77 billion. Concurrently, our underwriting profit has aggregated $22 billion pre-tax, including $3 billion realized in 2013. And all of this all began with our 1967 purchase of National Indemnity for $8.6 *million*.

  We now own a wide variety of exceptional insurance operations. Best known is GEICO, the car insurer Berkshire acquired in full at yearend 1995 (having for many years prior owned a partial interest). GEICO in 1996 ranked number seven among U.S. auto insurers. Now, GEICO is number two, having recently passed Allstate. The reasons for this amazing growth are simple: low prices and reliable service. You can do yourself a favor by calling 1-800-847-7536 or checking Geico.com to see if you, too, can cut your insurance costs. Buy some of Berkshire's other products with the savings.

- While Charlie and I search for elephants, our many subsidiaries are regularly making bolt-on acquisitions. Last year, we contracted for 25 of these, scheduled to cost $3.1 billion in aggregate. These transactions ranged from $1.9 million to $1.1 billion in size.

  Charlie and I encourage these deals. They deploy capital in activities that fit with our existing businesses and that will be managed by our corps of expert managers. The result is no more work for us and more earnings for you. Many more of these bolt-on deals will be made in future years. In aggregate, they will be meaningful.

- Last year we invested $3.5 billion in the surest sort of bolt-on: the purchase of additional shares in two wonderful businesses that we already controlled. In one case – Marmon – our purchases brought us to the 100% ownership we had signed up for in 2008. In the other instance – Iscar – the Wertheimer family elected to exercise a put option it held, selling us the 20% of the business it retained when we bought control in 2006.

  These purchases added about $300 million pre-tax to our current earning power and also delivered us $800 million of cash. Meanwhile, the same nonsensical accounting rule that I described in last year's letter required that we enter these purchases on our books at $1.8 billion less than we paid, a process that reduced Berkshire's book value. (The charge was made to "capital in excess of par value"; figure *that* one out.) This weird accounting, you should understand, instantly increased Berkshire's excess of intrinsic value over book value by the same $1.8 billion.

- Our subsidiaries spent a record $11 billion on plant and equipment during 2013, roughly twice our depreciation charge. About 89% of that money was spent in the United States. Though we invest abroad as well, the mother lode of opportunity resides in America.

- In a year in which most equity managers found it impossible to outperform the S&P 500, both Todd Combs and Ted Weschler handily did so. Each now runs a portfolio exceeding $7 billion. They've earned it.

  I must again confess that their investments outperformed mine. (Charlie says I should add "by a lot.") If such humiliating comparisons continue, I'll have no choice but to cease talking about them.

  Todd and Ted have also created significant value for you in several matters unrelated to their portfolio activities. Their contributions are just beginning: Both men have Berkshire blood in their veins.

- Berkshire's yearend employment – counting Heinz – totaled a record 330,745, up 42,283 from last year. The increase, I must admit, included one person at our Omaha home office. (Don't panic: The headquarters gang still fits comfortably on one floor.)

- Berkshire increased its ownership interest last year in each of its "Big Four" investments – American Express, Coca-Cola, IBM and Wells Fargo. We purchased additional shares of Wells Fargo (increasing our ownership to 9.2% versus 8.7% at yearend 2012) and IBM (6.3% versus 6.0%). Meanwhile, stock repurchases at Coca-Cola and American Express raised our percentage ownership. Our equity in Coca-Cola grew from 8.9% to 9.1% and our interest in American Express from 13.7% to 14.2%. And, if you think tenths of a percent aren't important, ponder this math: For the four companies in aggregate, each increase of one-tenth of a percent in our share of their equity raises Berkshire's share of their annual earnings by $50 million.

The four companies possess excellent businesses and are run by managers who are both talented and shareholder-oriented. At Berkshire, we much prefer owning a non-controlling but substantial portion of a wonderful company to owning 100% of a so-so business; it's better to have a partial interest in the Hope diamond than to own all of a rhinestone.

Going by our yearend holdings, our portion of the "Big Four's" 2013 earnings amounted to $4.4 billion. In the earnings we report to you, however, we include only the dividends we receive – about $1.4 billion last year. But make no mistake: The $3 billion of their earnings we don't report is every bit as valuable to us as the portion Berkshire records.

The earnings that these four companies retain are often used for repurchases of their own stock – a move that enhances our share of future earnings – as well as for funding business opportunities that usually turn out to be advantageous. All that leads us to expect that the per-share earnings of these four investees will grow substantially over time. If they do, dividends to Berkshire will increase and, even more important, our unrealized capital gains will, too. (For the four, unrealized gains already totaled $39 billion at yearend.)

Our flexibility in capital allocation – our willingness to invest large sums passively in non-controlled businesses – gives us a significant advantage over companies that limit themselves to acquisitions they can operate. Woody Allen stated the general idea when he said: "The advantage of being bi-sexual is that it doubles your chances for a date on Saturday night." Similarly, our appetite for *either* operating businesses or passive investments doubles our chances of finding sensible uses for our endless gusher of cash.

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Late in 2009, amidst the gloom of the Great Recession, we agreed to buy BNSF, the largest purchase in Berkshire's history. At the time, I called the transaction an "all-in wager on the economic future of the United States."

That kind of commitment was nothing new for us: We've been making similar wagers ever since Buffett Partnership Ltd. acquired control of Berkshire in 1965. For good reason, too. Charlie and I have always considered a "bet" on ever-rising U.S. prosperity to be very close to a sure thing.

Indeed, who has ever benefited during the past 237 years by betting *against* America? If you compare our country's present condition to that existing in 1776, you have to rub your eyes in wonder. And the dynamism embedded in our market economy will continue to work its magic. America's best days lie ahead.

With this tailwind working for us, Charlie and I hope to build Berkshire's per-share intrinsic value by (1) constantly improving the basic earning power of our many subsidiaries; (2) further increasing their earnings through bolt-on acquisitions; (3) benefiting from the growth of our investees; (4) repurchasing Berkshire shares when they are available at a meaningful discount from intrinsic value; and (5) making an occasional large acquisition. We will also try to maximize results for *you* by rarely, if ever, issuing Berkshire shares.

Those building blocks rest on a rock-solid foundation. A century hence, BNSF and MidAmerican Energy will still be playing major roles in our economy. Insurance will concomitantly be essential for both businesses and individuals – and no company brings greater human and financial resources to that business than Berkshire.

Moreover, we will *always* maintain supreme financial strength, operating with at least $20 billion of cash equivalents and never incurring material amounts of short-term obligations. As we view these and other strengths, Charlie and I like your company's prospects. We feel fortunate to be entrusted with its management.

Intrinsic Business Value

As much as Charlie and I talk about intrinsic business value, we cannot tell you precisely what that number is for Berkshire shares (nor, in fact, for any other stock). In our 2010 annual report, however, we laid out the three elements – one of them qualitative – that we believe are the keys to a sensible estimate of Berkshire's intrinsic value. That discussion is reproduced in full on pages 109 - 110.

Here is an update of the two quantitative factors: In 2013 our per-share investments increased 13.6% to $129,253 and our pre-tax earnings from businesses other than insurance and investments increased 12.8% to $9,116 per share.

Since 1970, our per-share investments have increased at a rate of 19.3% compounded annually, and our earnings figure has grown at a 20.6% clip. It is no coincidence that the price of Berkshire stock over the 43-year period has increased at a rate very similar to that of our two measures of value. Charlie and I like to see gains in both sectors, but we will most strongly focus on building operating earnings.

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Now, let's examine the four major sectors of our operations. Each has vastly different balance sheet and income characteristics from the others. So we'll present them as four separate businesses, which is how Charlie and I view them (though there are important and *enduring* advantages to having them all under one roof). Our goal is to provide you with the information we would wish to have if our positions were reversed, with you being the reporting manager and we the absentee shareholders. (But don't get any ideas!)

Insurance

> *"Our investment in the insurance companies reflects a first major step in our efforts to achieve a more diversified base of earning power."*
>
> — 1967 Annual Report

Let's look first at insurance, Berkshire's core operation and the engine that has consistently propelled our expansion since that 1967 report was published.

Property-casualty ("P/C") insurers receive premiums upfront and pay claims later. In extreme cases, such as those arising from certain workers' compensation accidents, payments can stretch over decades. This collect-now, pay-later model leaves P/C companies holding large sums – money we call "float" – that will eventually go to others. Meanwhile, insurers get to invest this float for their benefit. Though individual policies and claims come and go, the amount of float an insurer holds usually remains fairly stable in relation to premium volume. Consequently, as our business grows, so does our float. And *how* we have grown, as the following table shows:

Year	*Float (in $ millions)*
1970	$ 39
1980	237
1990	1,632
2000	27,871
2010	65,832
2013	77,240

Further gains in float will be tough to achieve. On the plus side, GEICO's float will almost certainly grow. In National Indemnity's reinsurance division, however, we have a number of run-off contracts whose float drifts downward. If we do experience a decline in float at some future time, it will be *very* gradual – at the outside no more than 3% in any year. The nature of our insurance contracts is such that we can *never* be subject to immediate demands for sums that are large compared to our cash resources. (In this respect, property-casualty insurance differs in an important way from certain forms of life insurance.)

If our premiums exceed the total of our expenses and eventual losses, we register an underwriting profit that adds to the investment income our float produces. When such a profit is earned, we enjoy the use of free money – and, better yet, get *paid* for holding it.

Unfortunately, the wish of all insurers to achieve this happy result creates intense competition, so vigorous in most years that it causes the P/C industry as a whole to operate at a significant underwriting *loss*. This loss, in effect, is what the industry pays to hold its float. For example, State Farm, by far the country's largest insurer and a well-managed company besides, incurred an underwriting loss in nine of the twelve years ending in 2012 (the latest year for which their financials are available, as I write this). Competitive dynamics almost guarantee that the insurance industry – despite the float income all companies enjoy – will continue its dismal record of earning subnormal returns as compared to other businesses.

As noted in the first section of this report, we have now operated at an underwriting profit for eleven consecutive years, our pre-tax gain for the period having totaled $22 billion. Looking ahead, I believe we will continue to underwrite profitably in most years. Doing so is the daily focus of *all* of our insurance managers who know that while float is valuable, it can be drowned by poor underwriting results.

So how does our float affect intrinsic value? When Berkshire's *book* value is calculated, the *full* amount of our float is deducted as a liability, just as if we had to pay it out tomorrow and could not replenish it. But to think of float as strictly a liability is incorrect; it should instead be viewed as a revolving fund. Daily, we pay old claims – some $17 billion to more than five million claimants in 2013 – and that reduces float. Just as surely, we each day write new business and thereby generate new claims that add to float. If our revolving float is both costless and long-enduring, which I believe it will be, the true value of this liability is *dramatically* less than the accounting liability.

A counterpart to this overstated liability is $15.5 billion of "goodwill" that is attributable to our insurance companies and included in book value as an asset. In very large part, this goodwill represents the price we paid for the float-generating capabilities of our insurance operations. The cost of the goodwill, however, has *no* bearing on its true value. For example, if an insurance business sustains large and prolonged underwriting losses, any goodwill asset carried on the books should be deemed valueless, whatever its original cost.

Fortunately, that does not describe Berkshire. Charlie and I believe the true economic value of our insurance goodwill – what we would happily pay to purchase an insurance operation possessing float *of similar quality* to that we have – to be far in excess of its historic carrying value. The value of our float is one reason – a huge reason – why we believe Berkshire's intrinsic business value substantially exceeds its book value.

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Berkshire's attractive insurance economics exist only because we have some terrific managers running disciplined operations that possess strong, hard-to-replicate business models. Let me tell you about the major units.

First by float size is the Berkshire Hathaway Reinsurance Group, managed by Ajit Jain. Ajit insures risks that no one else has the desire or the capital to take on. His operation combines capacity, speed, decisiveness and, most important, brains in a manner unique in the insurance business. Yet he never exposes Berkshire to risks that are inappropriate in relation to our resources. Indeed, we are *far* more conservative in avoiding risk than most large insurers. For example, if the insurance industry should experience a $250 billion loss from some mega-catastrophe – a loss about triple anything it has ever experienced – Berkshire as a whole would likely record a significant profit for the year because of its many streams of earnings. And we would remain awash in cash, looking for large opportunities if the catastrophe caused markets to go into shock. All other major insurers and reinsurers would meanwhile be far in the red, with some facing insolvency.

From a standing start in 1985, Ajit has created an insurance business with float of $37 billion and a large cumulative underwriting profit, a feat no other insurance CEO has come close to matching. Ajit's mind is an idea factory that is always looking for more lines of business he can add to his current assortment.

One venture materialized last June when he formed Berkshire Hathaway Specialty Insurance ("BHSI"). This initiative took us into commercial insurance, where we were instantly accepted by both major insurance brokers and corporate risk managers throughout America. These professionals recognize that no other insurer can match the financial strength of Berkshire, which guarantees that legitimate claims arising many years in the future will be paid promptly and fully.

BHSI is led by Peter Eastwood, an experienced underwriter who is widely respected in the insurance world. Peter has assembled a spectacular team that is already writing a substantial amount of business with many Fortune 500 companies and with smaller operations as well. BHSI will be a major asset for Berkshire, one that will generate volume in the billions within a few years. Give Peter a Berkshire greeting when you see him at the annual meeting.

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We have another reinsurance powerhouse in General Re, managed by Tad Montross.

At bottom, a sound insurance operation needs to adhere to four disciplines. It must (1) understand *all* exposures that might cause a policy to incur losses; (2) conservatively assess the likelihood of any exposure actually causing a loss and the probable cost if it does; (3) set a premium that, on average, will deliver a profit after both prospective loss costs and operating expenses are covered; and (4) be willing to walk away if the appropriate premium can't be obtained.

Many insurers pass the first three tests and flunk the fourth. They simply can't turn their back on business that is being eagerly written by their competitors. That old line, "The other guy is doing it, so we must as well," spells trouble in any business, but in none more so than insurance.

Tad has observed all four of the insurance commandments, and it shows in his results. General Re's huge float has been better than cost-free under his leadership, and we expect that, on average, to continue. We are particularly enthusiastic about General Re's international life reinsurance business, which has grown consistently and profitably since we acquired the company in 1998.

It can be remembered that soon after we purchased General Re, the company was beset by problems that caused commentators – and me as well, briefly – to believe I had made a huge mistake. That day is long gone. General Re is now a gem.

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Finally, there is GEICO, the insurer on which I cut my teeth 63 years ago. GEICO is managed by Tony Nicely, who joined the company at 18 and completed 52 years of service in 2013. Tony became CEO in 1993, and since then the company has been flying.

When I was first introduced to GEICO in January 1951, I was blown away by the huge cost advantage the company enjoyed compared to the expenses borne by the giants of the industry. That operational efficiency continues today and is an all-important asset. No one *likes* to buy auto insurance. But almost everyone likes to drive. The insurance needed is a major expenditure for most families. Savings matter to them – and *only* a low-cost operation can deliver these.

GEICO's cost advantage is the factor that has enabled the company to gobble up market share year after year. Its low costs create a moat – an *enduring* one – that competitors are unable to cross. Meanwhile, our little gecko continues to tell Americans how GEICO can save them important money. With our latest reduction in operating costs, his story has become even more compelling.

In 1995, we purchased the half of GEICO that we didn't already own, paying $1.4 billion more than the net tangible assets we acquired. That's "goodwill," and it will forever remain unchanged on our books. As GEICO's business grows, however, so does its *true* economic goodwill. I believe that figure to be approaching $20 billion.

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In addition to our three major insurance operations, we own a group of smaller companies, most of them plying their trade in odd corners of the insurance world. In aggregate, these companies are a growing operation that consistently delivers an underwriting profit. Moreover, as the table below shows, they also provide us with substantial float. Charlie and I treasure these companies and their managers.

	Underwriting Profit		*Yearend Float*	
			(in millions)	
Insurance Operations	*2013*	*2012*	*2013*	*2012*
BH Reinsurance	$1,294	$ 304	$37,231	$34,821
General Re	283	355	20,013	20,128
GEICO	1,127	680	12,566	11,578
Other Primary	385	286	7,430	6,598
	$3,089	$1,625	$77,240	$73,125

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Simply put, insurance is the sale of promises. The "customer" pays money now; the insurer promises to pay money in the future if certain events occur.

Sometimes, the promise will not be tested for decades. (Think of life insurance bought by those in their 20s.) Therefore, both the ability and willingness of the insurer to pay – even if economic chaos prevails when payment time arrives – is all-important.

Berkshire's promises have no equal, a fact affirmed in recent years by the actions of the world's largest and most sophisticated insurers, some of which have wanted to shed themselves of huge and exceptionally long-lived liabilities, particularly those involving asbestos claims. That is, these insurers wished to "cede" their liabilities to a reinsurer. Choosing the wrong reinsurer, however – one that down the road proved to be financially strapped or a bad actor – would put the original insurer in danger of getting the liabilities right back in its lap.

Almost without exception, the largest insurers seeking aid came to Berkshire. Indeed, in the largest such transaction ever recorded, Lloyd's in 2007 turned over to us both many thousands of known claims arising from policies written before 1993 and an unknown but huge number of claims from that same period sure to materialize in the future. (Yes, we will be receiving claims decades from now that apply to events taking place prior to 1993.)

Berkshire's ultimate payments arising from the Lloyd's transaction are today unknowable. What is certain, however, is that Berkshire will pay all valid claims up to the $15 billion limit of our policy. No other insurer's promise would have given Lloyd's the comfort provided by its agreement with Berkshire. The CEO of the entity then handling Lloyd's claims said it best: "Names [the original insurers at Lloyd's] wanted to sleep easy at night, and we think we've just bought them the world's best mattress."

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Berkshire's great managers, premier financial strength and a variety of business models possessing wide moats form something unique in the insurance world. The combination is a huge asset for Berkshire shareholders that will only get more valuable with time.

Regulated, Capital-Intensive Businesses

"Though there are many regulatory restraints in the utility industry, it's possible that we will make additional commitments in the field. If we do, the amounts involved could be large."

— 1999 Annual Report

We have two major operations, BNSF and MidAmerican Energy, that share important characteristics distinguishing them from our other businesses. Consequently, we assign them their own section in this letter and split out their combined financial statistics in our GAAP balance sheet and income statement.

A key characteristic of both companies is their huge investment in very long-lived, regulated assets, with these partially funded by large amounts of long-term debt that is *not* guaranteed by Berkshire. Our credit is in fact not needed because each company has earning power that even under terrible economic conditions will far exceed its interest requirements. Last year, for example, BNSF's interest coverage was 9:1. (Our definition of coverage is pre-tax earnings/interest, *not* EBITDA/interest, a commonly-used measure we view as seriously flawed.)

At MidAmerican, meanwhile, two factors ensure the company's ability to service its debt under all circumstances. The first is common to all utilities: recession-resistant earnings, which result from these companies exclusively offering an essential service. The second is enjoyed by few other utilities: a great diversity of earnings streams, which shield us from being seriously harmed by any single regulatory body. Now, with the acquisition of NV Energy, MidAmerican's earnings base has further broadened. This particular strength, supplemented by Berkshire's ownership, has enabled MidAmerican and its utility subsidiaries to significantly lower their cost of debt. This advantage benefits both us *and* our customers.

Every day, our two subsidiaries power the American economy in major ways:

- BNSF carries about 15% (measured by ton-miles) of *all* inter-city freight, whether it is transported by truck, rail, water, air, or pipeline. Indeed, we move more ton-miles of goods than *anyone* else, a fact establishing BNSF as the most important artery in our economy's circulatory system. Its hold on the number-one position strengthened in 2013.

  BNSF, like all railroads, also moves its cargo in an extraordinarily fuel-efficient and environmentally friendly way, carrying a ton of freight about 500 miles on a single gallon of diesel fuel. Trucks taking on the same job guzzle about four times as much fuel.

- MidAmerican's utilities serve regulated retail customers in eleven states. No utility company stretches further. In addition, we are the leader in renewables: From a standing start nine years ago, MidAmerican now accounts for 7% of the country's wind generation capacity, with more on the way. Our share in solar – most of which is still in construction – is even larger.

  MidAmerican can make these investments because it retains *all* of its earnings. Here's a little known fact: Last year MidAmerican retained more dollars of earnings – by far – than any other American electric utility. We and our regulators see this as an important advantage – one almost certain to exist five, ten and twenty years from now.

When our current projects are completed, MidAmerican's renewables portfolio will have cost $15 billion. We relish making such commitments as long as they promise reasonable returns. And, on that front, we put a large amount of trust in future regulation.

Our confidence is justified both by our past experience and by the knowledge that society will forever need massive investments in both transportation and energy. It is in the self-interest of governments to treat capital providers in a manner that will ensure the continued flow of funds to essential projects. It is meanwhile in our self-interest to conduct our operations in a way that earns the approval of our regulators and the people they represent.

Tangible proof of our dedication to that duty was delivered last year in a poll of customer satisfaction covering 52 holding companies and their 101 operating electric utilities. Our MidAmerican group ranked number one, with 95.3% of respondents giving us a "very satisfied" vote and not a single customer rating us "dissatisfied." The bottom score in the survey, incidentally, was a dismal 34.5%.

All three of our companies were ranked far lower by this measure before they were acquired by MidAmerican. The extraordinary customer satisfaction we have achieved is of great importance as we expand: Regulators in states we hope to enter are glad to see us, knowing we will be responsible operators.

Our railroad has been diligent as well in anticipating the needs of its customers. Whatever you may have heard about our country's crumbling infrastructure in no way applies to BNSF or railroads generally. America's rail system has never been in better shape, a consequence of huge investments by the industry. We are not, however, resting: BNSF spent $4 billion on the railroad in 2013, double its depreciation charge and a single-year record for *any* railroad. And, we will spend considerably more in 2014. Like Noah, who foresaw early on the need for dependable transportation, we know it's our job to plan ahead.

Leading our two capital-intensive companies are Greg Abel, at MidAmerican, and the team of Matt Rose and Carl Ice at BNSF. The three are extraordinary managers who have my gratitude and deserve yours as well. Here are the key figures for their businesses:

MidAmerican (89.8% owned)	*Earnings (in millions)*		
	2013	*2012*	*2011*
U.K. utilities	$ 362	$ 429	$ 469
Iowa utility	230	236	279
Western utilities	982	737	771
Pipelines	385	383	388
HomeServices	139	82	39
Other (net)	4	91	36
Operating earnings before corporate interest and taxes	2,102	1,958	1,982
Interest	296	314	336
Income taxes	170	172	315
Net earnings	$ 1,636	$ 1,472	$ 1,331
Earnings applicable to Berkshire	$ 1,470	$ 1,323	$ 1,204

BNSF	*Earnings (in millions)*		
	2013	*2012*	*2011*
Revenues	$22,014	$20,835	$19,548
Operating expenses	15,357	14,835	14,247
Operating earnings before interest and taxes	6,657	6,000	5,301
Interest (net)	729	623	560
Income taxes	2,135	2,005	1,769
Net earnings	$ 3,793	$ 3,372	$ 2,972

Ron Peltier continues to build HomeServices, MidAmerican's real estate brokerage subsidiary. Last year his operation made four acquisitions, the most significant being Fox & Roach, a Philadelphia-based company that is the largest single-market realtor in the country.

HomeServices now has 22,114 agents (listed by geography on page 112), up 38% from 2012. HomeServices also owns 67% of the Prudential and Real Living franchise operations, which are in the process of rebranding their franchisees as Berkshire Hathaway HomeServices. If you haven't yet, many of you will soon be seeing our name on "for sale" signs.

Manufacturing, Service and Retailing Operations

"See that store," Warren says, pointing at Nebraska Furniture Mart. "That's a really good business."
"Why don't you buy it?" I said.
"It's privately held," Warren said.
"Oh," I said.
"I might buy it anyway," Warren said. "Someday."
— *Supermoney* by Adam Smith (1972)

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/13 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 6,625	Notes payable	$ 1,615
Accounts and notes receivable	7,749	Other current liabilities	8,965
Inventory	9,945	Total current liabilities	10,580
Other current assets	716		
Total current assets	25,035		
		Deferred taxes	5,184
Goodwill and other intangibles	25,617	Term debt and other liabilities	4,405
Fixed assets	19,389	Non-controlling interests	456
Other assets	4,274	Berkshire equity	53,690
	$74,315		$74,315

Earnings Statement (in millions)

	2013	*2012*	*2011*
Revenues	$95,291	$83,255	$72,406
Operating expenses	88,414	76,978	67,239
Interest expense	135	146	130
Pre-tax earnings	6,742	6,131	5,037
Income taxes and non-controlling interests	2,512	2,432	1,998
Net earnings	$ 4,230	$ 3,699	$ 3,039

Our income and expense data conforming to Generally Accepted Accounting Principles ("GAAP") is on page 29. In contrast, the operating expense figures above are non-GAAP and exclude some purchase-accounting items (primarily the amortization of certain intangible assets). We present the data in this manner because Charlie and I believe the adjusted numbers more accurately reflect the true economic expenses and profits of the businesses aggregated in the table than do GAAP figures.

I won't explain all of the adjustments – some are tiny and arcane – but serious investors should understand the disparate nature of intangible assets: Some truly deplete over time while others in no way lose value. With software, for example, amortization charges are very real expenses. Charges against other intangibles such as the amortization of customer relationships, however, arise through purchase-accounting rules and are clearly not real costs. GAAP accounting draws no distinction between the two types of charges. Both, that is, are recorded as expenses when earnings are calculated – even though from an investor's viewpoint they could not be more different.

In the GAAP-compliant figures we show on page 29, amortization charges of $648 million for the companies included in this section are deducted as expenses. We would call about 20% of these "real," the rest not. This difference has become significant because of the many acquisitions we have made. It will almost certainly rise further as we acquire more companies.

Eventually, of course, the non-real charges disappear when the assets to which they're related become fully amortized. But this usually takes 15 years and – alas – it will be my successor whose reported earnings get the benefit of their expiration.

Every dime of depreciation expense we report, however, is a real cost. And that's true at almost all other companies as well. When Wall Streeters tout EBITDA as a valuation guide, button your wallet.

Our public reports of earnings will, of course, continue to conform to GAAP. To embrace reality, however, remember to add back most of the amortization charges we report.

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The crowd of companies in this section sells products ranging from lollipops to jet airplanes. Some of these businesses, measured by earnings on unleveraged net *tangible* assets, enjoy terrific economics, producing profits that run from 25% after-tax to far more than 100%. Others generate good returns in the area of 12% to 20%. A few, however, have very poor returns, a result of some serious mistakes I made in my job of capital allocation. I was not misled: I simply was wrong in my evaluation of the economic dynamics of the company or the industry in which it operated.

Fortunately, my blunders usually involved relatively small acquisitions. Our large buys have generally worked out well and, in a few cases, more than well. I have not, however, made my last mistake in purchasing either businesses or stocks. Not everything works out as planned.

Viewed as a single entity, the companies in this group are an excellent business. They employed an average of $25 billion of net tangible assets during 2013 and, with large quantities of excess cash and little leverage, earned 16.7% after-tax on that capital.

Of course, a business with terrific economics can be a bad investment if the purchase price is excessive. We have paid substantial premiums to net tangible assets for most of our businesses, a cost that is reflected in the large figure we show for goodwill. Overall, however, we are getting a decent return on the capital we have deployed in this sector. Furthermore, the intrinsic value of these businesses, in aggregate, exceeds their carrying value by a good margin. Even so, the difference between intrinsic value and carrying value in the insurance and regulated-industry segments is *far* greater. It is there that the truly big winners reside.

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We have far too many companies in this group to comment on them individually. Moreover, both current and potential competitors read this report. In a few of our businesses we might be disadvantaged if they knew our numbers. So, in some of our operations that are not of a size material to an evaluation of Berkshire, we only disclose what is required. You can find a good bit of detail about many of our operations, however, on pages 80-84.

I can't resist, however, giving you an update on Nebraska Furniture Mart's expansion into Texas. I'm not covering this event because of its *economic* importance to Berkshire – it takes more than a new store to move the needle on Berkshire's $225 billion equity base. But I've now worked 30 years with the marvelous Blumkin family, and I'm excited about the remarkable store – truly Texas-sized – it is building at The Colony, in the northern part of the Dallas metropolitan area.

When the store is completed next year, NFM will have – under one roof, and on a 433-acre site – 1.8 million square feet of retail and supporting warehouse space. View the project's progress at www.nfm.com/texas. NFM already owns the two highest-volume home furnishings stores in the country (in Omaha and Kansas City, Kansas), each doing about $450 million annually. I predict the Texas store will blow these records away. If you live anywhere near Dallas, come check us out.

I think back to August 30, 1983 – my birthday – when I went to see Mrs. B (Rose Blumkin), carrying a 1¼-page purchase proposal for NFM that I had drafted. (It's reproduced on pages 114 - 115.) Mrs. B accepted my offer without changing a word, and we completed the deal without the involvement of investment bankers or lawyers (an experience that can only be described as heavenly). Though the company's financial statements were unaudited, I had no worries. Mrs. B simply told me what was what, and her word was good enough for me.

Mrs. B was 89 at the time and worked until 103 – definitely my kind of woman. Take a look at NFM's financial statements from 1946 on pages 116 - 117. Everything NFM now owns comes from (a) that $72,264 of net worth and $50 – *no* zeros omitted – of cash the company then possessed, and (b) the incredible talents of Mrs. B, her son, Louie, and his sons Ron and Irv.

The punch line to this story is that Mrs. B never spent a day in school. Moreover, she emigrated from Russia to America knowing not a word of English. But she loved her adopted country: At Mrs. B's request, the family always sang *God Bless America* at its gatherings.

Aspiring business managers should look hard at the plain, but rare, attributes that produced Mrs. B's incredible success. Students from 40 universities visit me every year, and I have them start the day with a visit to NFM. If they absorb Mrs. B's lessons, they need none from me.

Finance and Financial Products

> *"Clayton's loan portfolio will likely grow to at least $5 billion in not too many years and, with sensible credit standards in place, should deliver significant earnings."*
>
> *— 2003 Annual Report*

This sector, our smallest, includes two rental companies, XTRA (trailers) and CORT (furniture), as well as Clayton Homes, the country's leading producer and financer of manufactured homes. Aside from these 100%-owned subsidiaries, we also include in this category a collection of financial assets and our 50% interest in Berkadia Commercial Mortgage.

Clayton is placed in this section because it owns and services 326,569 mortgages, totaling $13.6 billion. In recent years, as manufactured home sales plummeted, a high percentage of Clayton's earnings came from this mortgage business.

In 2013, however, the sale of new homes began to pick up and earnings from both manufacturing and retailing are again becoming significant. Clayton remains America's number one homebuilder: Its 2013 output of 29,547 homes accounted for about 4.7% of all single-family residences built in the country. Kevin Clayton, Clayton's CEO, has done a magnificent job of guiding the company through the severe housing depression. Now, his job – definitely more fun these days – includes the prospect of another earnings gain in 2014.

CORT and XTRA are leaders in their industries as well. And Jeff Pederson and Bill Franz will keep them on top. We are backing their plans through purchases of equipment that enlarge their rental potential.

Here's the pre-tax earnings recap for this sector:

	2013	2012	2011
		(in millions)	
Berkadia	$ 80	$ 35	$ 25
Clayton	416	255	154
CORT	40	42	29
XTRA	125	106	126
Net financial income*	324	410	440
	$985	$848	$ 774

* Excludes capital gains or losses

Investments

"Our stock portfolio . . . was worth approximately $17 million less than its carrying value [cost] . . . it is our belief that, over a period of years, the overall portfolio will prove to be worth more than its cost."

— 1974 Annual Report

Below we list our fifteen common stock investments that at yearend had the largest market value.

			12/31/13	
Shares**	Company	Percentage of Company Owned	Cost*	Market
			(in millions)	
151,610,700	American Express Company	14.2	$ 1,287	$ 13,756
400,000,000	The Coca-Cola Company	9.1	1,299	16,524
22,238,900	DIRECTV	4.2	1,017	1,536
41,129,643	Exxon Mobil Corp.	0.9	3,737	4,162
13,062,594	The Goldman Sachs Group, Inc.	2.8	750	2,315
68,121,984	International Business Machines Corp.	6.3	11,681	12,778
24,669,778	Moody's Corporation	11.5	248	1,936
20,060,390	Munich Re	11.2	2,990	4,415
20,668,118	Phillips 66	3.4	660	1,594
52,477,678	The Procter & Gamble Company	1.9	336	4,272
22,169,930	Sanofi	1.7	1,747	2,354
301,046,076	Tesco plc	3.7	1,699	1,666
96,117,069	U.S. Bancorp	5.3	3,002	3,883
56,805,984	Wal-Mart Stores, Inc.	1.8	2,976	4,470
483,470,853	Wells Fargo & Company	9.2	11,871	21,950
	Others		11,281	19,894
	Total Common Stocks Carried at Market		$56,581	$117,505

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required under its rules.

**Excludes shares held by Berkshire subsidiary pension funds.

Berkshire has one major equity position that is not included in the table: We can buy 700 million shares of Bank of America at any time prior to September 2021 for $5 billion. At yearend these shares were worth $10.9 billion. We are likely to purchase the shares just before expiration of our option. In the meantime, it is important for you to realize that Bank of America is, in effect, our fifth largest equity investment and one we value highly.

In addition to our equity holdings, we also invest substantial sums in bonds. Usually, we've done well in these. But not always.

Most of you have never heard of Energy Future Holdings. Consider yourselves lucky; I certainly wish I hadn't. The company was formed in 2007 to effect a giant leveraged buyout of electric utility assets in Texas. The equity owners put up $8 billion and borrowed a massive amount in addition. About $2 billion of the debt was purchased by Berkshire, pursuant to a decision I made without consulting with Charlie. That was a *big* mistake.

Unless natural gas prices soar, EFH will almost certainly file for bankruptcy in 2014. Last year, we sold our holdings for $259 million. While owning the bonds, we received $837 million in cash interest. Overall, therefore, we suffered a pre-tax loss of $873 million. Next time I'll call Charlie.

A few of our subsidiaries – primarily electric and gas utilities – use derivatives in their operations. Otherwise, we have not entered into any derivative contracts for some years, and our existing positions continue to run off. The contracts that have expired have delivered large profits as well as several billion dollars of medium-term float. Though there are no guarantees, we expect a similar result from those remaining on our books.

Some Thoughts About Investing

Investment is most intelligent when it is most businesslike.
— *The Intelligent Investor* by Benjamin Graham

It is fitting to have a Ben Graham quote open this discussion because I owe so much of what I know about investing to him. I will talk more about Ben a bit later, and I will even sooner talk about common stocks. But let me first tell you about two small non-stock investments that I made long ago. Though neither changed my net worth by much, they are instructive.

This tale begins in Nebraska. From 1973 to 1981, the Midwest experienced an explosion in farm prices, caused by a widespread belief that runaway inflation was coming and fueled by the lending policies of small rural banks. Then the bubble burst, bringing price declines of 50% or more that devastated both leveraged farmers and their lenders. Five times as many Iowa and Nebraska banks failed in that bubble's aftermath than in our recent Great Recession.

In 1986, I purchased a 400-acre farm, located 50 miles north of Omaha, from the FDIC. It cost me $280,000, considerably less than what a failed bank had lent against the farm a few years earlier. I knew nothing about operating a farm. But I have a son who loves farming and I learned from him both how many bushels of corn and soybeans the farm would produce and what the operating expenses would be. From these estimates, I calculated the normalized return from the farm to then be about 10%. I also thought it was likely that productivity would improve over time and that crop prices would move higher as well. Both expectations proved out.

I needed no unusual knowledge or intelligence to conclude that the investment had no downside and potentially had substantial upside. There would, of course, be the occasional bad crop and prices would sometimes disappoint. But so what? There would be some unusually good years as well, and I would never be under any pressure to sell the property. Now, 28 years later, the farm has tripled its earnings and is worth five times or more what I paid. I still know nothing about farming and recently made just my second visit to the farm.

In 1993, I made another small investment. Larry Silverstein, Salomon's landlord when I was the company's CEO, told me about a New York retail property adjacent to NYU that the Resolution Trust Corp. was selling. Again, a bubble had popped – this one involving commercial real estate – and the RTC had been created to dispose of the assets of failed savings institutions whose optimistic lending practices had fueled the folly.

Here, too, the analysis was simple. As had been the case with the farm, the unleveraged current yield from the property was about 10%. But the property had been undermanaged by the RTC, and its income would increase when several vacant stores were leased. Even more important, the largest tenant – who occupied around 20% of the project's space – was paying rent of about $5 per foot, whereas other tenants averaged $70. The expiration of this bargain lease in nine years was certain to provide a major boost to earnings. The property's location was also superb: NYU wasn't going anywhere.

I joined a small group, including Larry and my friend Fred Rose, that purchased the parcel. Fred was an experienced, high-grade real estate investor who, with his family, would manage the property. And manage it they did. As old leases expired, earnings tripled. Annual distributions now exceed 35% of our original equity investment. Moreover, our original mortgage was refinanced in 1996 and again in 1999, moves that allowed several special distributions totaling more than 150% of what we had invested. I've yet to view the property.

Income from both the farm and the NYU real estate will probably increase in the decades to come. Though the gains won't be dramatic, the two investments will be solid and satisfactory holdings for my lifetime and, subsequently, for my children and grandchildren.

I tell these tales to illustrate certain fundamentals of investing:

- You don't need to be an expert in order to achieve satisfactory investment returns. But if you aren't, you must recognize your limitations and follow a course certain to work reasonably well. Keep things simple and don't swing for the fences. When promised quick profits, respond with a quick "no."

- Focus on the future productivity of the asset you are considering. If you don't feel comfortable making a rough estimate of the asset's future earnings, just forget it and move on. No one has the ability to evaluate every investment possibility. But omniscience isn't necessary; you only need to understand the actions you undertake.

- If you instead focus on the prospective price change of a contemplated purchase, you are speculating. There is nothing improper about that. I know, however, that I am unable to speculate successfully, and I am skeptical of those who claim sustained success at doing so. Half of all coin-flippers will win their first toss; *none* of those winners has an expectation of profit if he continues to play the game. And the fact that a given asset has appreciated in the recent past is *never* a reason to buy it.

- With my two small investments, I thought *only* of what the properties would produce and cared not at all about their daily valuations. Games are won by players who focus on the playing field – not by those whose eyes are glued to the scoreboard. If you can enjoy Saturdays and Sundays without looking at stock prices, give it a try on weekdays.

- Forming macro opinions or listening to the macro or market predictions of others is a waste of time. Indeed, it is dangerous because it may blur your vision of the facts that are truly important. (When I hear TV commentators glibly opine on what the market will do next, I am reminded of Mickey Mantle's scathing comment: "You don't know how easy this game is until you get into that broadcasting booth.")

- My two purchases were made in 1986 and 1993. What the economy, interest rates, or the stock market might do in the years immediately following – 1987 and 1994 – was of no importance to me in making those investments. I can't remember what the headlines or pundits were saying at the time. Whatever the chatter, corn would keep growing in Nebraska and students would flock to NYU.

There is one major difference between my two small investments and an investment in stocks. Stocks provide you minute-to-minute valuations for your holdings whereas I have yet to see a quotation for either my farm or the New York real estate.

It should be an enormous advantage for investors in stocks to have those wildly fluctuating valuations placed on their holdings – and for some investors, it is. After all, if a moody fellow with a farm bordering my property yelled out a price every day to me at which he would either buy my farm or sell me his – and those prices varied widely over short periods of time depending on his mental state – how in the world could I be other than benefited by his erratic behavior? If his daily shout-out was ridiculously low, and I had some spare cash, I would buy his farm. If the number he yelled was absurdly high, I could either sell to him or just go on farming.

Owners of stocks, however, too often let the capricious and often irrational behavior of their fellow owners cause them to behave irrationally as well. Because there is so much chatter about markets, the economy, interest rates, price behavior of stocks, etc., some investors believe it is important to listen to pundits – and, worse yet, important to consider acting upon their comments.

Those people who can sit quietly for decades when they own a farm or apartment house too often become frenetic when they are exposed to a stream of stock quotations and accompanying commentators delivering an implied message of "Don't just sit there, *do* something." For these investors, liquidity is transformed from the unqualified benefit it should be to a curse.

A "flash crash" or some other extreme market fluctuation can't hurt an investor any more than an erratic and mouthy neighbor can hurt my farm investment. Indeed, tumbling markets can be helpful to the true investor if he has cash available when prices get far out of line with values. A climate of fear is your *friend* when investing; a euphoric world is your enemy.

During the extraordinary financial panic that occurred late in 2008, I never gave a thought to selling my farm or New York real estate, even though a severe recession was clearly brewing. And, if I had owned 100% of a solid business with good long-term prospects, it would have been foolish for me to even consider dumping it. So why would I have sold my stocks that were small participations in wonderful businesses? True, any one of them might eventually disappoint, but as a group they were certain to do well. Could anyone really believe the earth was going to swallow up the incredible productive assets and unlimited human ingenuity existing in America?

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When Charlie and I buy stocks – which we think of as small portions of businesses – our analysis is very similar to that which we use in buying entire businesses. We first have to decide whether we can sensibly estimate an earnings range for five years out, or more. If the answer is yes, we will buy the stock (or business) if it sells at a reasonable price in relation to the bottom boundary of our estimate. If, however, we lack the ability to estimate future earnings – which is usually the case – we simply move on to other prospects. In the 54 years we have worked together, we have *never* foregone an attractive purchase because of the macro or political environment, or the views of other people. In fact, these subjects never come up when we make decisions.

It's vital, however, that we recognize the perimeter of our "circle of competence" and stay well inside of it. Even then, we will make some mistakes, both with stocks and businesses. But they will not be the disasters that occur, for example, when a long-rising market induces purchases that are based on anticipated price behavior and a desire to be where the action is.

Most investors, of course, have not made the study of business prospects a priority in their lives. If wise, they will conclude that they do not know enough about specific businesses to predict their future earning power.

I have good news for these non-professionals: The typical investor doesn't need this skill. In aggregate, American business has done wonderfully over time and will continue to do so (though, most assuredly, in *unpredictable* fits and starts). In the 20th Century, the Dow Jones Industrials index advanced from 66 to 11,497, paying a rising stream of dividends to boot. The 21st Century will witness further gains, almost certain to be substantial. The goal of the non-professional should not be to pick winners – neither he nor his "helpers" can do that – but should rather be to own a cross-section of businesses that in aggregate are bound to do well. A low-cost S&P 500 index fund will achieve this goal.

That's the "what" of investing for the non-professional. The "when" is also important. The main danger is that the timid or beginning investor will enter the market at a time of extreme exuberance and then become disillusioned when paper losses occur. (Remember the late Barton Biggs' observation: "A bull market is like sex. It feels best just before it ends.") The antidote to that kind of mistiming is for an investor to accumulate shares over a long period and never to sell when the news is bad and stocks are well off their highs. Following those rules, the "know-nothing" investor who both diversifies and *keeps his costs minimal* is virtually certain to get satisfactory results. Indeed, the unsophisticated investor who is realistic about his shortcomings is likely to obtain better long-term results than the knowledgeable professional who is blind to even a single weakness.

If "investors" frenetically bought and sold farmland to each other, neither the yields nor prices of their crops would be increased. The only consequence of such behavior would be decreases in the overall earnings realized by the farm-owning population because of the substantial costs it would incur as it sought advice and switched properties.

Nevertheless, both individuals and institutions will constantly be urged to be active by those who profit from giving advice or effecting transactions. The resulting frictional costs can be huge and, for investors in aggregate, devoid of benefit. So ignore the chatter, keep your costs minimal, and invest in stocks as you would in a farm.

My money, I should add, is where my mouth is: What I advise here is essentially identical to certain instructions I've laid out in my will. One bequest provides that cash will be delivered to a trustee for my wife's benefit. (I have to use cash for individual bequests, because *all* of my Berkshire shares will be fully distributed to certain philanthropic organizations over the ten years following the closing of my estate.) My advice to the trustee could not be more simple: Put 10% of the cash in short-term government bonds and 90% in a very low-cost S&P 500 index fund. (I suggest Vanguard's.) I believe the trust's long-term results from this policy will be superior to those attained by most investors – whether pension funds, institutions or individuals – who employ high-fee managers.

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And now back to Ben Graham. I learned most of the thoughts in this investment discussion from Ben's book *The Intelligent Investor*, which I bought in 1949. My financial life changed with that purchase.

Before reading Ben's book, I had wandered around the investing landscape, devouring everything written on the subject. Much of what I read fascinated me: I tried my hand at charting and at using market indicia to predict stock movements. I sat in brokerage offices watching the tape roll by, and I listened to commentators. All of this was fun, but I couldn't shake the feeling that I wasn't getting anywhere.

In contrast, Ben's ideas were explained logically in elegant, easy-to-understand prose (without Greek letters or complicated formulas). For me, the key points were laid out in what later editions labeled Chapters 8 and 20. (The original 1949 edition numbered its chapters differently.) These points guide my investing decisions today.

A couple of interesting sidelights about the book: Later editions included a postscript describing an unnamed investment that was a bonanza for Ben. Ben made the purchase in 1948 when he was writing the first edition and – brace yourself – the mystery company was GEICO. If Ben had not recognized the special qualities of GEICO when it was still in its infancy, my future and Berkshire's would have been far different.

The 1949 edition of the book also recommended a railroad stock that was then selling for $17 and earning about $10 per share. (One of the reasons I admired Ben was that he had the guts to use current examples, leaving himself open to sneers if he stumbled.) In part, that low valuation resulted from an accounting rule of the time that required the railroad to exclude from its reported earnings the substantial retained earnings of affiliates.

The recommended stock was Northern Pacific, and its most important affiliate was Chicago, Burlington and Quincy. These railroads are now important parts of BNSF (Burlington Northern Santa Fe), which is today fully owned by Berkshire. When I read the book, Northern Pacific had a market value of about $40 million. Now its successor (having added a great many properties, to be sure) *earns* that amount every four days.

I can't remember what I paid for that first copy of *The Intelligent Investor*. Whatever the cost, it would underscore the truth of Ben's adage: Price is what you pay, value is what you get. Of all the investments I ever made, buying Ben's book was the best (except for my purchase of two marriage licenses).

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Local and state financial problems are accelerating, in large part because public entities promised pensions they couldn't afford. Citizens and public officials typically under-appreciated the gigantic financial tapeworm that was born when promises were made that conflicted with a willingness to fund them. Unfortunately, pension mathematics today remain a mystery to most Americans.

Investment policies, as well, play an important role in these problems. In 1975, I wrote a memo to Katharine Graham, then chairman of The Washington Post Company, about the pitfalls of pension promises and the importance of investment policy. That memo is reproduced on pages 118 - 136.

During the next decade, you will read a lot of news – *bad* news – about public pension plans. I hope my memo is helpful to you in understanding the necessity for prompt remedial action where problems exist.

The Annual Meeting

The annual meeting will be held on Saturday, May 3rd at the CenturyLink Center. Carrie Sova, our talented ringmaster, will be in charge, and all of our headquarters group will pitch in to help her. Our gang both does a better job than professional event planners would and – yes – saves us money.

CenturyLink's doors will open at 7 a.m., and at 7:30 we will have our third International Newspaper Tossing Challenge. Our target will be a Clayton Home porch, precisely 35 feet from the throwing line. I tossed about 500,000 papers when I was a teenager, so I think I'm pretty good. Challenge me: I'll buy a Dilly Bar for anyone who lands his or her throw closer to the doorstep than I do. The papers will be 36 to 42 pages, and you must fold them yourself (no rubber bands allowed).

At 8:30, a new Berkshire movie will be shown. An hour later, we will start the question-and-answer period, which (with a break for lunch at CenturyLink's stands) will last until 3:30. After a short recess, Charlie and I will convene the annual meeting at 3:45. If you decide to leave during the day's question periods, please do so while *Charlie* is talking.

The best reason to exit, of course, is to *shop*. We'll assist you by filling the 194,300-square-foot hall that adjoins the meeting area with products from dozens of Berkshire subsidiaries. Last year, you did your part, and most locations racked up record sales. In a nine-hour period, we sold 1,062 pairs of Justin boots (that's a pair every 32 seconds), 12,792 pounds of See's candy, 11,162 Quikut knives (21 knives per minute) and 6,344 pairs of Wells Lamont gloves, always a hot item. This year, Charlie and I will have competing ketchup bottles for sale. Naturally, the one with Charlie's picture will be heavily discounted. But, if you help, my bottle will outsell his. This is important, so don't let me down.

Brooks, our running-shoe company, will again have a special commemorative shoe to offer at the meeting. After you purchase a pair, wear them the next day at our second annual "Berkshire 5K," an 8 a.m. race starting at the CenturyLink. Full details for participating will be included in the Visitor's Guide that you will receive with your tickets for the meeting. Entrants will find themselves running alongside many of Berkshire's managers, directors and associates.

GEICO will have a booth in the shopping area, staffed by a number of its top counselors from around the country. Stop by for a quote. In most cases, GEICO will be able to give you a shareholder discount (usually 8%). This special offer is permitted by 44 of the 51 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another, such as that given certain groups.) Bring the details of your existing insurance and check out whether we can save you money. For at least half of you, I believe we can.

Be sure to visit the Bookworm. It will carry about 35 books and DVDs, among them a couple of new titles. One is Max Olson's compilation of Berkshire letters going back to 1965. The book includes an index that I find particularly useful, specifying page numbers for individuals, companies and subject matter. I also recommend *Forty Chances* by my son, Howard. You'll enjoy it.

If you are a big spender – or aspire to become one – visit Signature Flight Support on the east side of the Omaha airport between noon and 5 p.m. on Saturday. There, we will have a fleet of NetJets aircraft sure to set your pulse racing. Come by bus; leave by private jet. Live a little.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to the meeting and other events. Airlines have sometimes jacked up prices for the Berkshire weekend. If you are coming from far away, compare the cost of flying to Kansas City versus Omaha. The drive between the two cities is about 2½ hours, and it may be that Kansas City can save you significant money, particularly if you had planned to rent a car in Omaha. Spend the savings with us.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. Last year in the week surrounding the meeting, the store did $40.2 million of business, breaking its previous record by 12%. It also set a single day record of $8.2 million on Saturday, selling nearly $1 million of mattresses alone.

To obtain the Berkshire discount at NFM, you must make your purchases between Tuesday, April 29th and Monday, May 5th inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Saturday, and 10 a.m. to 6 p.m. on Sunday. On Saturday this year, from 5:30 p.m. to 8 p.m., NFM is having a picnic to which you are all invited.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 9 p.m. on Friday, May 2nd. The second, the main gala, will be held on Sunday, May 4th, from 9 a.m. to 4 p.m. On Saturday, we will be open until 6 p.m. In recent years, our three-day volume has far exceeded sales in all of December, normally a jeweler's best month.

About 1:15 p.m. on Sunday, I will begin clerking at Borsheims. Ask for my "Crazy Warren" quote on the item of your choice. As I get older, my pricing gets ever more ridiculous. Come take advantage of me.

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 28th through Saturday, May 10th. During that period, please identify yourself as a shareholder by presenting your meeting credentials or a brokerage statement that shows you are a Berkshire holder.

On Sunday, in the mall outside of Borsheims, a blindfolded Patrick Wolff, twice U.S. chess champion, will take on all comers – who will have their eyes wide open – in groups of six. Nearby, Norman Beck, a remarkable magician from Dallas, will bewilder onlookers. Additionally, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play bridge with our shareholders on Sunday afternoon. Don't play them for money.

My friend, Ariel Hsing, will be in the mall as well on Sunday, taking on challengers at table tennis. Last year, she made Americans – and especially me – proud with her performance at the Olympics.

I met Ariel when she was nine and even then I was unable to score a point against her. Now, she's a freshman at Princeton and the U.S. Women's Champion. If you don't mind embarrassing yourself, test your skills against her, beginning at 1 p.m. Bill Gates and I will lead off and try to soften her up.

Gorat's and Piccolo's will again be open exclusively for Berkshire shareholders on Sunday, May 4th. Both will be serving until 10 p.m., with Gorat's opening at 1 p.m. and Piccolo's opening at 4 p.m. These restaurants are my favorites, and I will eat at both of them on Sunday evening. Remember: To make a reservation at Gorat's, call 402-551-3733 on April 1st (*but not before*) and for Piccolo's call 402-342-9038. At Piccolo's order a giant root beer float for dessert. Only sissies get the small one.

We will again have the same three financial journalists lead the question-and-answer period at the meeting, asking Charlie and me questions that shareholders have submitted to them by e-mail. The journalists and their e-mail addresses are: Carol Loomis, of Fortune, who may be e-mailed at cloomis@fortunemail.com; Becky Quick, of CNBC, at BerkshireQuestions@cnbc.com; and Andrew Ross Sorkin, of The New York Times, at arsorkin@nytimes.com.

From the questions submitted, each journalist will choose the six he or she decides are the most interesting and important. The journalists have told me your question has the best chance of being selected if you keep it concise, avoid sending it in at the last moment, make it Berkshire-related and include no more than two questions in any e-mail you send them. (In your e-mail, let the journalist know if you would like your name mentioned if your question is selected.)

We will also have a panel of three analysts who follow Berkshire. This year the insurance specialist will be Jay Gelb of Barclays. Questions that deal with our non-insurance operations will come from Jonathan Brandt of Ruane, Cunniff & Goldfarb.

And we will again have a credentialed bear on Berkshire. We would like to hear from applicants who are short Berkshire (please include evidence of your position). The three analysts will bring their own Berkshire-specific questions and alternate with the journalists and the audience in asking them.

Charlie and I believe that all shareholders should have access to new Berkshire information simultaneously and should also have adequate time to analyze it. That's why we try to issue financial information late on Fridays or early on Saturdays and why our annual meeting is held on Saturdays. We do not talk one-on-one to large institutional investors or analysts, but rather treat *all* shareholders the same. Our hope is that the journalists and analysts will ask questions that further educate our owners about their investment.

Neither Charlie nor I will get so much as a clue about the questions to be asked. We know the journalists and analysts will come up with some tough ones, and that's the way we like it. All told, we expect at least 54 questions, which will allow for six from each analyst and journalist and 18 from the audience. If there is some extra time, we will take more from the audience. Audience questioners will be determined by drawings that will take place at 8:15 a.m. at each of the 15 microphones located in the arena and main overflow room.

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For good reason, I regularly extol the accomplishments of our operating managers. They are truly All-Stars, who run their businesses as if they were the only asset owned by their families. I believe the mindset of our managers to be as shareholder-oriented as can be found in the universe of large publicly-owned companies. Most have no financial need to work; the joy of hitting business "home runs" means as much to them as their paycheck.

Equally important, however, are the 24 men and women who work with me at our corporate office. This group efficiently deals with a multitude of SEC and other regulatory requirements, files a 23,000-page Federal income tax return as well as state and foreign returns, responds to countless shareholder and media inquiries, gets out the annual report, prepares for the country's largest annual meeting, coordinates the Board's activities – and the list goes on and on.

They handle all of these business tasks cheerfully and with unbelievable efficiency, making my life easy and pleasant. Their efforts go beyond activities strictly related to Berkshire: Last year they dealt with the 40 universities (selected from 200 applicants) who sent students to Omaha for a Q&A day with me. They also handle all kinds of requests that I receive, arrange my travel, and even get me hamburgers and French fries (smothered in ketchup, of course) for lunch. No CEO has it better; I truly do feel like tap dancing to work every day.

In closing, I think it's become appropriate to ignore our "no pictures" policy and let you view our remarkable home-office crew. Below is a photo from our Christmas lunch. Two people couldn't make it; otherwise you are looking at all of those who staff Berkshire's headquarters. They are truly miracle-workers.

Next year's letter will review our 50 years at Berkshire and speculate a bit about the next 50. In the meantime, come to Omaha on May 3rd and enjoy our Woodstock for Capitalists.

February 28, 2014

Warren E. Buffett
Chairman of the Board



A power lunch, Berkshire-style

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire	in Per-Share Market Value of Berkshire	in S&P 500 with Dividends Included
1965	23.8	49.5	10.0
1966	20.3	(3.4)	(11.7)
1967	11.0	13.3	30.9
1968	19.0	77.8	11.0
1969	16.2	19.4	(8.4)
1970	12.0	(4.6)	3.9
1971	16.4	80.5	14.6
1972	21.7	8.1	18.9
1973	4.7	(2.5)	(14.8)
1974	5.5	(48.7)	(26.4)
1975	21.9	2.5	37.2
1976	59.3	129.3	23.6
1977	31.9	46.8	(7.4)
1978	24.0	14.5	6.4
1979	35.7	102.5	18.2
1980	19.3	32.8	32.3
1981	31.4	31.8	(5.0)
1982	40.0	38.4	21.4
1983	32.3	69.0	22.4
1984	13.6	(2.7)	6.1
1985	48.2	93.7	31.6
1986	26.1	14.2	18.6
1987	19.5	4.6	5.1
1988	20.1	59.3	16.6
1989	44.4	84.6	31.7
1990	7.4	(23.1)	(3.1)
1991	39.6	35.6	30.5
1992	20.3	29.8	7.6
1993	14.3	38.9	10.1
1994	13.9	25.0	1.3
1995	43.1	57.4	37.6
1996	31.8	6.2	23.0
1997	34.1	34.9	33.4
1998	48.3	52.2	28.6
1999	0.5	(19.9)	21.0
2000	6.5	26.6	(9.1)
2001	(6.2)	6.5	(11.9)
2002	10.0	(3.8)	(22.1)
2003	21.0	15.8	28.7
2004	10.5	4.3	10.9
2005	6.4	0.8	4.9
2006	18.4	24.1	15.8
2007	11.0	28.7	5.5
2008	(9.6)	(31.8)	(37.0)
2009	19.8	2.7	26.5
2010	13.0	21.4	15.1
2011	4.6	(4.7)	2.1
2012	14.4	16.8	16.0
2013	18.2	32.7	32.4
2014	8.3	27.0	13.7
Compounded Annual Gain – 1965-2014	19.4%	21.6%	9.9%
Overall Gain – 1964-2014	751,113%	1,826,163%	11,196%

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31. Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported. The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

A note to readers: Fifty years ago, today's management took charge at Berkshire. For this Golden Anniversary, Warren Buffett and Charlie Munger each wrote his views of what has happened at Berkshire during the past 50 years and what each expects during the next 50. Neither changed a word of his commentary after reading what the other had written. Warren's thoughts begin on page 24 and Charlie's on page 39. Shareholders, particularly new ones, may find it useful to read those letters before reading the report on 2014, which begins below.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Berkshire's gain in net worth during 2014 was $18.3 billion, which increased the per-share book value of both our Class A and Class B stock by 8.3%. Over the last 50 years (that is, since present management took over), per-share book value has grown from $19 to $146,186, a rate of 19.4% compounded annually.*

During our tenure, we have consistently compared the yearly performance of the S&P 500 to the change in Berkshire's per-share book value. We've done that because book value has been a crude, but useful, *tracking device* for the number that really counts: intrinsic business value.

In our early decades, the relationship between book value and intrinsic value was much closer than it is now. That was true because Berkshire's assets were then largely securities whose values were continuously restated to reflect their current market prices. In Wall Street parlance, most of the assets involved in the calculation of book value were "marked to market."

Today, our emphasis has shifted in a major way to owning and operating large businesses. Many of these are worth far more than their cost-based carrying value. But that amount is *never* revalued upward no matter how much the value of these companies has increased. Consequently, the gap between Berkshire's intrinsic value and its book value has materially widened.

With that in mind, we have added a new set of data – the historical record of Berkshire's stock price – to the performance table on the facing page. Market prices, let me stress, have their limitations in the short term. Monthly or yearly movements of stocks are often erratic and not indicative of changes in intrinsic value. Over time, however, stock prices and intrinsic value almost invariably converge. Charlie Munger, Berkshire Vice Chairman and my partner, and I believe that has been true at Berkshire: In our view, the increase in Berkshire's per-share intrinsic value over the past 50 years is roughly equal to the 1,826,163% gain in market price of the company's shares.

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* All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/1500th of those shown for A.

The Year at Berkshire

It was a good year for Berkshire on all major fronts, except one. Here are the important developments:

- Our "Powerhouse Five" – a collection of Berkshire's largest non-insurance businesses – had a record $12.4 billion of pre-tax earnings in 2014, up $1.6 billion from 2013.* The companies in this sainted group are Berkshire Hathaway Energy (formerly MidAmerican Energy), BNSF, IMC (I've called it Iscar in the past), Lubrizol and Marmon.

  Of the five, only Berkshire Hathaway Energy, then earning $393 million, was owned by us a decade ago. Subsequently we purchased another three of the five on an all-cash basis. In acquiring the fifth, BNSF, we paid about 70% of the cost in cash and, for the remainder, issued Berkshire shares that increased the number outstanding by 6.1%. In other words, the $12 billion gain in annual earnings delivered Berkshire by the five companies over the ten-year span has been accompanied by only minor dilution. That satisfies our goal of not simply increasing earnings, but making sure we also increase *per-share* results.

  If the U.S. economy continues to improve in 2015, we expect earnings of our Powerhouse Five to improve as well. The gain could reach $1 billion, in part because of bolt-on acquisitions by the group that have already closed or are under contract.

- Our bad news from 2014 comes from our group of five as well and is unrelated to earnings. During the year, BNSF disappointed many of its customers. These shippers depend on us, and service failures can badly hurt their businesses.

  BNSF is, by far, Berkshire's most important non-insurance subsidiary and, to improve its performance, we will spend $6 billion on plant and equipment in 2015. That sum is nearly 50% more than any other railroad has spent in a single year and is a truly extraordinary amount, whether compared to revenues, earnings or depreciation charges.

  Though weather, which was particularly severe last year, will always cause railroads a variety of operating problems, our responsibility is to do *whatever it takes* to restore our service to industry-leading levels. That can't be done overnight: The extensive work required to increase system capacity sometimes disrupts operations while it is underway. Recently, however, our outsized expenditures are beginning to show results. During the last three months, BNSF's performance metrics have materially improved from last year's figures.

- Our many dozens of smaller non-insurance businesses earned $5.1 billion last year, up from $4.7 billion in 2013. Here, as with our Powerhouse Five, we expect further gains in 2015. Within this group, we have two companies that last year earned between $400 million and $600 million, six that earned between $250 million and $400 million, and seven that earned between $100 million and $250 million. This collection of businesses will increase in both number and earnings. Our ambitions have no finish line.

- Berkshire's huge and growing insurance operation again operated at an underwriting profit in 2014 – that makes 12 years in a row – and increased its float. During that 12-year stretch, our float – money that doesn't belong to us but that we can invest for Berkshire's benefit – has grown from $41 billion to $84 billion. Though neither that gain nor the size of our float is reflected in Berkshire's earnings, float generates significant investment income because of the assets it allows us to hold.

* Throughout this letter, as well as in the "Golden Anniversary" letters included later in this report, all earnings are stated on a pre-tax basis unless otherwise designated.

Meanwhile, our underwriting profit totaled $24 billion during the twelve-year period, including $2.7 billion earned in 2014. And all of this began with our 1967 purchase of National Indemnity for $8.6 *million*.

- While Charlie and I search for new businesses to buy, our many subsidiaries are regularly making bolt-on acquisitions. Last year was particularly fruitful: We contracted for 31 bolt-ons, scheduled to cost $7.8 billion in aggregate. The size of these transactions ranged from $400,000 to $2.9 billion. However, the largest acquisition, Duracell, will not close until the second half of this year. It will then be placed under Marmon's jurisdiction.

  Charlie and I encourage bolt-ons, *if* they are sensibly-priced. (Most deals offered us aren't.) They deploy capital in activities that fit with our existing businesses and that will be managed by our corps of expert managers. This means no more work for us, yet more earnings, a combination we find particularly appealing. We will make many more of these bolt-on deals in future years.

- Two years ago my friend, Jorge Paulo Lemann, asked Berkshire to join his 3G Capital group in the acquisition of Heinz. My affirmative response was a no-brainer: I knew immediately that this partnership would work well from both a personal and financial standpoint. And it most definitely has.

  I'm not embarrassed to admit that Heinz is run far better under Alex Behring, Chairman, and Bernardo Hees, CEO, than would be the case if I were in charge. They hold themselves to extraordinarily high performance standards and are never satisfied, even when their results far exceed those of competitors.

  We expect to partner with 3G in more activities. Sometimes our participation will only involve a financing role, as was the case in the recent acquisition of Tim Hortons by Burger King. Our favored arrangement, however, will usually be to link up as a *permanent* equity partner (who, in some cases, contributes to the financing of the deal as well). Whatever the structure, we feel good when working with Jorge Paulo.

  Berkshire also has fine partnerships with Mars and Leucadia, and we may form new ones with them or with other partners. Our participation in any joint activities, whether as a financing or equity partner, will be limited to friendly transactions.

- In October, we contracted to buy Van Tuyl Automotive, a group of 78 automobile dealerships that is exceptionally well-run. Larry Van Tuyl, the company's owner, and I met some years ago. He then decided that if he were ever to sell his company, its home should be Berkshire. Our purchase was recently completed, and we are now "car guys."

  Larry and his dad, Cecil, spent 62 years building the group, following a strategy that made owner-partners of all local managers. Creating this mutuality of interests proved over and over to be a winner. Van Tuyl is now the fifth-largest automotive group in the country, with per-dealership sales figures that are outstanding.

  In recent years, Jeff Rachor has worked alongside Larry, a successful arrangement that will continue. There are about 17,000 dealerships in the country, and ownership transfers always require approval by the relevant auto manufacturer. Berkshire's job is to perform in a manner that will cause manufacturers to welcome further purchases by us. If we do this – and if we can buy dealerships at sensible prices – we will build a business that before long will be multiples the size of Van Tuyl's $9 billion of sales.

  With the acquisition of Van Tuyl, Berkshire now owns 9½ companies that would be listed on the Fortune 500 were they independent (Heinz is the ½). That leaves 490½ fish in the sea. Our lines are out.

- Our subsidiaries spent a record $15 billion on plant and equipment during 2014, well over twice their depreciation charges. About 90% of that money was spent in the United States. Though we will always invest abroad as well, the mother lode of opportunities runs through America. The treasures that have been uncovered up to now are dwarfed by those still untapped. Through dumb luck, Charlie and I were born in the United States, and we are forever grateful for the staggering advantages this accident of birth has given us.

- Berkshire's yearend employees – including those at Heinz – totaled a record 340,499, up 9,754 from last year. The increase, I am proud to say, included no gain at headquarters (where 25 people work). No sense going crazy.

- Berkshire increased its ownership interest last year in each of its "Big Four" investments – American Express, Coca-Cola, IBM and Wells Fargo. We purchased additional shares of IBM (increasing our ownership to 7.8% versus 6.3% at yearend 2013). Meanwhile, stock repurchases at Coca-Cola, American Express and Wells Fargo raised our percentage ownership of each. Our equity in Coca-Cola grew from 9.1% to 9.2%, our interest in American Express increased from 14.2% to 14.8% and our ownership of Wells Fargo grew from 9.2% to 9.4%. And, if you think tenths of a percent aren't important, ponder this math: For the four companies in aggregate, each increase of one-tenth of a percent in our ownership raises Berkshire's portion of their annual earnings by $50 million.

  These four investees possess excellent businesses and are run by managers who are both talented and shareholder-oriented. At Berkshire, we much prefer owning a non-controlling but substantial portion of a wonderful company to owning 100% of a so-so business. It's better to have a partial interest in the Hope Diamond than to own all of a rhinestone.

  If Berkshire's yearend holdings are used as the marker, our portion of the "Big Four's" 2014 earnings before discontinued operations amounted to $4.7 billion (compared to $3.3 billion only three years ago). In the earnings we report to you, however, we include only the dividends we receive – about $1.6 billion last year. (Again, three years ago the dividends were $862 million.) But make no mistake: The $3.1 billion of these companies' earnings we don't report are every bit as valuable to us as the portion Berkshire records.

  The earnings these investees retain are often used for repurchases of their own stock – a move that enhances Berkshire's share of future earnings without requiring us to lay out a dime. Their retained earnings also fund business opportunities that usually turn out to be advantageous. All that leads us to expect that the per-share earnings of these four investees, in aggregate, will grow substantially over time (though 2015 will be a tough year for the group, in part because of the strong dollar). If the expected gains materialize, dividends to Berkshire will increase and, even more important, so will our unrealized capital gains. (For the package of four, our unrealized gains already totaled $42 billion at yearend.)

  Our flexibility in capital allocation – our willingness to invest large sums passively in non-controlled businesses – gives us a significant advantage over companies that limit themselves to acquisitions they can operate. Our appetite for *either* operating businesses or passive investments doubles our chances of finding sensible uses for Berkshire's endless gusher of cash.

- I've mentioned in the past that my experience in business helps me as an investor and that my investment experience has made me a better businessman. Each pursuit teaches lessons that are applicable to the other. And some truths can only be fully learned through experience. (In Fred Schwed's wonderful book, *Where Are the Customers' Yachts?*, a Peter Arno cartoon depicts a puzzled Adam looking at an eager Eve, while a caption says, "There are certain things that cannot be adequately explained to a virgin either by words or pictures." If you haven't read Schwed's book, buy a copy at our annual meeting. Its wisdom and humor are truly priceless.)

Among Arno's "certain things," I would include two separate skills, the evaluation of investments and the management of businesses. I therefore think it's worthwhile for Todd Combs and Ted Weschler, our two investment managers, to each have oversight of at least one of our businesses. A sensible opportunity for them to do so opened up a few months ago when we agreed to purchase two companies that, though smaller than we would normally acquire, have excellent economic characteristics. Combined, the two earn $100 million annually on about $125 million of net tangible assets.

I've asked Todd and Ted to each take on one as Chairman, in which role they will function in the very limited way that I do with our larger subsidiaries. This arrangement will save me a minor amount of work and, more important, make the two of them even better investors than they already are (which is to say among the best).

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Late in 2009, amidst the gloom of the Great Recession, we agreed to buy BNSF, the largest purchase in Berkshire's history. At the time, I called the transaction an "all-in wager on the economic future of the United States."

That kind of commitment was nothing new for us. We've been making similar wagers ever since Buffett Partnership Ltd. acquired control of Berkshire in 1965. For good reason, too: Charlie and I have always considered a "bet" on ever-rising U.S. prosperity to be very close to a sure thing.

Indeed, who has ever benefited during the past 238 years by betting *against* America? If you compare our country's present condition to that existing in 1776, you have to rub your eyes in wonder. In my lifetime alone, *real* per-capita U.S. output has *sextupled*. My parents could not have dreamed in 1930 of the world their son would see. Though the preachers of pessimism prattle endlessly about America's problems, I've never seen one who wishes to emigrate (though I can think of a few for whom I would happily buy a one-way ticket).

The dynamism embedded in our market economy will continue to work its magic. Gains won't come in a smooth or uninterrupted manner; they never have. And we will regularly grumble about our government. But, most assuredly, America's best days lie ahead.

With this tailwind working for us, Charlie and I hope to build Berkshire's per-share intrinsic value by (1) constantly improving the basic earning power of our many subsidiaries; (2) further increasing their earnings through bolt-on acquisitions; (3) benefiting from the growth of our investees; (4) repurchasing Berkshire shares when they are available at a meaningful discount from intrinsic value; and (5) making an occasional large acquisition. We will also try to maximize results for *you* by rarely, if ever, issuing Berkshire shares.

Those building blocks rest on a rock-solid foundation. A century hence, BNSF and Berkshire Hathaway Energy will still be playing vital roles in our economy. Homes and autos will remain central to the lives of most families. Insurance will continue to be essential for both businesses and individuals. Looking ahead, Charlie and I see a world made to order for Berkshire. We feel fortunate to be entrusted with its management.

Intrinsic Business Value

As much as Charlie and I talk about intrinsic business value, we cannot tell you precisely what that number is for Berkshire shares (nor, in fact, for any other stock). In our 2010 annual report, however, we laid out the three elements – one of them qualitative – that we believe are the keys to a sensible estimate of Berkshire's intrinsic value. That discussion is reproduced in full on pages 123-124.

Here is an update of the two quantitative factors: In 2014 our per-share investments increased 8.4% to $140,123, and our earnings from businesses other than insurance and investments increased 19% to $10,847 per share.

Since 1970, our per-share investments have increased at a rate of 19% compounded annually, and our earnings figure has grown at a 20.6% clip. It is no coincidence that the price of Berkshire stock over the ensuing 44 years has increased at a rate very similar to that of our two measures of value. Charlie and I like to see gains in both sectors, but our main focus is to build operating earnings. That's why we were pleased to exchange our Phillips 66 and Graham Holdings stock for operating businesses last year and to contract with Procter and Gamble to acquire Duracell by means of a similar exchange set to close in 2015.

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Now, let's examine the four major sectors of our operations. Each has vastly different balance sheet and income characteristics from the others. So we'll present them as four separate businesses, which is how Charlie and I view them (though there are important and *enduring* advantages to having them all under one roof). Our goal is to provide you with the information we would wish to have if our positions were reversed, with you being the reporting manager and we the absentee shareholders. (But don't get any ideas!)

Insurance

Let's look first at insurance, Berkshire's core operation. That industry has been the engine that has propelled our expansion since 1967, when we acquired National Indemnity and its sister company, National Fire & Marine, for $8.6 million. Though that purchase had monumental consequences for Berkshire, its execution was simplicity itself.

Jack Ringwalt, a friend of mine who was the controlling shareholder of the two companies, came to my office saying he would like to sell. Fifteen minutes later, we had a deal. Neither of Jack's companies had ever had an audit by a public accounting firm, and I didn't ask for one. My reasoning: (1) Jack was honest and (2) He was also a bit quirky and likely to walk away if the deal became at all complicated.

On pages 128-129, we reproduce the 1½-page purchase agreement we used to finalize the transaction. That contract was homemade: Neither side used a lawyer. Per page, this has to be Berkshire's best deal: National Indemnity today has GAAP (generally accepted accounting principles) net worth of $111 billion, which exceeds that of any other insurer in the world.

One reason we were attracted to the property-casualty business was its financial characteristics: P/C insurers receive premiums upfront and pay claims later. In extreme cases, such as those arising from certain workers' compensation accidents, payments can stretch over many decades. This collect-now, pay-later model leaves P/C companies holding large sums – money we call "float" – that will eventually go to others. Meanwhile, insurers get to invest this float for their benefit. Though individual policies and claims come and go, the amount of float an insurer holds usually remains fairly stable in relation to premium volume. Consequently, as our business grows, so does our float. And *how* we have grown, as the following table shows:

Year	*Float (in $ millions)*
1970	$ 39
1980	237
1990	1,632
2000	27,871
2010	65,832
2014	83,921

Further gains in float will be tough to achieve. On the plus side, GEICO and our new commercial insurance operation are almost certain to grow at a good clip. National Indemnity's reinsurance division, however, is party to a number of run-off contracts whose float drifts downward. If we do in time experience a decline in float, it will be *very* gradual – at the outside no more than 3% in any year. The nature of our insurance contracts is such that we can *never* be subject to immediate demands for sums that are large compared to our cash resources. This strength is a key pillar in Berkshire's economic fortress.

If our premiums exceed the total of our expenses and eventual losses, we register an underwriting profit that adds to the investment income our float produces. When such a profit is earned, we enjoy the use of free money – and, better yet, get *paid* for holding it.

Unfortunately, the wish of all insurers to achieve this happy result creates intense competition, so vigorous indeed that it frequently causes the P/C industry as a whole to operate at a significant underwriting *loss*. This loss, in effect, is what the industry pays to hold its float. Competitive dynamics almost guarantee that the insurance industry, despite the float income all its companies enjoy, will continue its dismal record of earning subnormal returns on tangible net worth as compared to other American businesses. The prolonged period of low interest rates our country is now dealing with causes earnings on float to decrease, thereby exacerbating the profit problems of the industry.

As noted in the first section of this report, Berkshire has now operated at an underwriting profit for twelve consecutive years, our pre-tax gain for the period having totaled $24 billion. Looking ahead, I believe we will continue to underwrite profitably in most years. Doing so is the daily focus of *all* of our insurance managers, who know that while float is valuable, its benefits can be drowned by poor underwriting results. That message is given at least lip service by all insurers; at Berkshire it is a religion.

So how does our float affect intrinsic value? When Berkshire's *book* value is calculated, the *full* amount of our float is deducted as a *liability*, just as if we had to pay it out tomorrow and could not replenish it. But to think of float as strictly a liability is incorrect; it should instead be viewed as a revolving fund. Daily, we pay old claims and related expenses – a huge $22.7 billion to more than six million claimants in 2014 – and that reduces float. Just as surely, we each day write new business and thereby generate new claims that add to float.

If our revolving float is both costless and long-enduring, which I believe it will be, the true value of this liability is *dramatically* less than the accounting liability. Owing $1 that in effect will never leave the premises – because new business is almost certain to deliver a substitute – is worlds different from owing $1 that will go out the door tomorrow and not be replaced. The two types of liabilities are treated as equals, however, under GAAP.

A partial offset to this overstated liability is a $15.5 billion "goodwill" asset that we incurred in buying our insurance companies and that increases book value. In very large part, this goodwill represents the price we paid for the float-generating capabilities of our insurance operations. The cost of the goodwill, however, has *no* bearing on its true value. For example, if an insurance company sustains large and prolonged underwriting losses, *any* goodwill asset carried on the books should be deemed valueless, whatever its original cost.

Fortunately, that does not describe Berkshire. Charlie and I believe the true economic value of our insurance goodwill – what we would happily pay for float *of similar quality* were we to purchase an insurance operation possessing it – to be *far* in excess of its historic carrying value. Under present accounting rules (with which we agree) this excess value will *never* be entered on our books. But I can assure you that it's real. That's one reason – a huge reason – why we believe Berkshire's intrinsic business value substantially exceeds its book value.

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Berkshire's attractive insurance economics exist only because we have some terrific managers running disciplined operations that possess hard-to-replicate business models. Let me tell you about the major units.

First by float size is the Berkshire Hathaway Reinsurance Group, managed by Ajit Jain. Ajit insures risks that no one else has the desire or the capital to take on. His operation combines capacity, speed, decisiveness and, most important, brains in a manner unique in the insurance business. Yet he never exposes Berkshire to risks that are inappropriate in relation to our resources.

Indeed, we are *far* more conservative in avoiding risk than most large insurers. For example, if the insurance industry should experience a $250 billion loss from some mega-catastrophe – a loss about triple anything it has ever experienced – Berkshire as a whole would likely record a significant profit for the year because of its many streams of earnings. We would also remain awash in cash and be looking for large opportunities in a market that might well have gone into shock. Meanwhile, other major insurers and reinsurers would be far in the red, if not facing insolvency.

Ajit's underwriting skills are unmatched. His mind, moreover, is an idea factory that is always looking for more lines of business he can add to his current assortment. Last year I told you about his formation of Berkshire Hathaway Specialty Insurance ("BHSI"). This initiative took us into commercial insurance, where we were instantly welcomed by both major insurance brokers and corporate risk managers throughout America. Previously, we had written only a few specialized lines of commercial insurance.

BHSI is led by Peter Eastwood, an experienced underwriter who is widely respected in the insurance world. During 2014, Peter expanded his talented group, moving into both international business and new lines of insurance. We repeat last year's prediction that BHSI will be a major asset for Berkshire, one that will generate volume in the billions within a few years.

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We have another reinsurance powerhouse in General Re, managed by Tad Montross.

At bottom, a sound insurance operation needs to adhere to four disciplines. It must (1) understand *all* exposures that might cause a policy to incur losses; (2) conservatively assess the likelihood of any exposure actually causing a loss and the probable cost if it does; (3) set a premium that, on average, will deliver a profit after both prospective loss costs and operating expenses are covered; and (4) be willing to walk away if the appropriate premium can't be obtained.

Many insurers pass the first three tests and flunk the fourth. They simply can't turn their back on business that is being eagerly written by their competitors. That old line, "The other guy is doing it, so we must as well," spells trouble in any business, but in none more so than insurance.

Tad has observed all four of the insurance commandments, and it shows in his results. General Re's huge float has been considerably better than cost-free under his leadership, and we expect that, on average, to continue. We are particularly enthusiastic about General Re's international life reinsurance business, which has grown consistently and profitably since we acquired the company in 1998.

It can be remembered that soon after we purchased General Re, it was beset by problems that caused commentators – and me as well, briefly – to believe I had made a huge mistake. That day is long gone. General Re is now a gem.

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Finally, there is GEICO, the insurer on which I cut my teeth 64 years ago. GEICO is managed by Tony Nicely, who joined the company at 18 and completed 53 years of service in 2014. Tony became CEO in 1993, and since then the company has been flying. There is *no* better manager than Tony.

When I was first introduced to GEICO in January 1951, I was blown away by the huge cost advantage the company enjoyed compared to the expenses borne by the giants of the industry. It was clear to me that GEICO would succeed because it *deserved* to succeed. No one *likes* to buy auto insurance. Almost everyone, though, likes to drive. The insurance consequently needed is a major expenditure for most families. Savings matter to them – and *only* a low-cost operation can deliver these. Indeed, at least 40% of the people reading this letter can save money by insuring with GEICO. So stop reading and go to geico.com or call 800-368-2734.

GEICO's cost advantage is the factor that has enabled the company to gobble up market share year after year. (We ended 2014 at 10.8% compared to 2.5% in 1995, when Berkshire acquired control of GEICO.) The company's low costs create a moat – an *enduring* one – that competitors are unable to cross. Our gecko never tires of telling Americans how GEICO can save them important money. The gecko, I should add, has one particularly endearing quality – he works without pay. Unlike a human spokesperson, he never gets a swelled head from his fame nor does he have an agent to constantly remind us how valuable he is. I love the little guy.

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In addition to our three major insurance operations, we own a group of smaller companies, most of them plying their trade in odd corners of the insurance world. In aggregate, these companies are a growing operation that consistently delivers an underwriting profit. Indeed, over the past decade, they have earned $2.95 billion from underwriting while growing their float from $1.7 billion to $8.6 billion. Charlie and I treasure these companies and their managers.

	Underwriting Profit		*Yearend Float*	
			(in millions)	
Insurance Operations	*2014*	*2013*	*2014*	*2013*
BH Reinsurance	$ 606	$1,294	$42,454	$37,231
General Re	277	283	19,280	20,013
GEICO	1,159	1,127	13,569	12,566
Other Primary	626	385	8,618	7,430
	$2,668	$3,089	$83,921	$77,240

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Simply put, insurance is the sale of promises. The "customer" pays money now; the insurer promises to pay money in the future should certain unwanted events occur.

Sometimes, the promise will not be tested for decades. (Think of life insurance bought by people in their 20s.) Therefore, both the ability and willingness of the insurer to pay, even if economic chaos prevails when payment time arrives, is all-important.

Berkshire's promises have no equal, a fact affirmed in recent years by certain of the world's largest and most sophisticated P/C insurers, who wished to shed themselves of huge and exceptionally long-lived liabilities. That is, these insurers wished to "cede" these liabilities – most of them potential losses from asbestos claims – to a reinsurer. They needed the right one, though: If a reinsurer fails to pay a loss, the original insurer is still on the hook for it. Choosing a reinsurer, therefore, that down the road proves to be financially strapped or a bad actor threatens the original insurer with getting huge liabilities right back in its lap.

Last year, our premier position in reinsurance was reaffirmed by our writing a policy carrying a $3 billion single premium. I believe that the policy's size has only been exceeded by our 2007 transaction with Lloyd's, in which the premium was $7.1 billion.

In fact, I know of only eight P/C policies in history that had a single premium exceeding $1 billion. And, yes, all eight were written by Berkshire. Certain of these contracts will require us to make substantial payments 50 years or more from now. When major insurers have needed an unquestionable promise that payments of this type will be made, Berkshire has been the party – the *only* party – to call.

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Berkshire's great managers, premier financial strength and a variety of business models protected by wide moats amount to something unique in the insurance world. This assemblage of strengths is a huge asset for Berkshire shareholders that will only get more valuable with time.

Regulated, Capital-Intensive Businesses

We have two major operations, BNSF and Berkshire Hathaway Energy ("BHE"), that share important characteristics distinguishing them from our other businesses. Consequently, we assign them their own section in this letter and split out their combined financial statistics in our GAAP balance sheet and income statement.

A key characteristic of both companies is their huge investment in very long-lived, regulated assets, with these partially funded by large amounts of long-term debt that is *not* guaranteed by Berkshire. Our credit is in fact not needed because each company has earning power that even under terrible economic conditions will far exceed its interest requirements. Last year, for example, BNSF's interest coverage was more than 8:1. (Our definition of coverage is pre-tax earnings/interest, *not* EBITDA/interest, a commonly used measure we view as seriously flawed.)

At BHE, meanwhile, two factors ensure the company's ability to service its debt under all circumstances. The first is common to all utilities: recession-resistant earnings, which result from these companies offering an essential service on an exclusive basis. The second is enjoyed by few other utilities: a great diversity of earnings streams, which shield us from being seriously harmed by any single regulatory body. Recently, we have further broadened that base through our $3 billion (Canadian) acquisition of AltaLink, an electric transmission system serving 85% of Alberta's population. This multitude of profit streams, supplemented by the inherent advantage of being owned by a strong parent, has enabled BHE and its utility subsidiaries to significantly lower their cost of debt. This economic fact benefits both us *and* our customers.

Every day, our two subsidiaries power the American economy in major ways:

- BNSF carries about 15% (measured by ton-miles) of *all* inter-city freight, whether it is transported by truck, rail, water, air, or pipeline. Indeed, we move more ton-miles of goods than *anyone* else, a fact establishing BNSF as the most important artery in our economy's circulatory system.

  BNSF, like all railroads, also moves its cargo in an extraordinarily fuel-efficient and environmentally friendly way, carrying a ton of freight about 500 miles on a single gallon of diesel fuel. Trucks taking on the same job guzzle about four times as much fuel.

- BHE's utilities serve regulated retail customers in eleven states. No utility company stretches further. In addition, we are a leader in renewables: From a standing start ten years ago, BHE now accounts for 6% of the country's wind generation capacity and 7% of its solar generation capacity. Beyond these businesses, BHE owns two large pipelines that deliver 8% of our country's natural gas consumption; the recently-purchased electric transmission operation in Canada; and major electric businesses in the U.K. and Philippines. And the beat goes on: We will continue to buy and build utility operations throughout the world for decades to come.

  BHE can make these investments because it retains *all* of its earnings. In fact, last year the company retained more dollars of earnings – by far – than any other American electric utility. We and our regulators see this 100% retention policy as an important advantage – one almost certain to distinguish BHE from other utilities for many years to come.

When BHE completes certain renewables projects that are underway, the company's renewables portfolio will have cost $15 billion. In addition, we have conventional projects in the works that will also cost many billions. We relish making such commitments as long as they promise reasonable returns – and, on that front, we put a large amount of trust in future regulation.

Our confidence is justified both by our past experience and by the knowledge that society will forever need massive investments in both transportation and energy. It is in the self-interest of governments to treat capital providers in a manner that will ensure the continued flow of funds to essential projects. It is concomitantly in our self-interest to conduct our operations in a way that earns the approval of our regulators and the people they represent.

Last year we fully met this objective at BHE, just as we have in every year of our ownership. Our rates remain low, our customer satisfaction is high and our record for employee safety is among the best in the industry.

The story at BNSF, however – as I noted earlier – was not good in 2014, a year in which the railroad disappointed many of its customers. This problem occurred despite the record capital expenditures that BNSF has made in recent years, with those having far exceeded the outlays made by Union Pacific, our principal competitor.

The two railroads are of roughly equal size measured by revenues, though we carry considerably more freight (measured either by carloads or ton-miles). But our service problems exceeded Union Pacific's last year, and we lost market share as a result. Moreover, U.P.'s earnings beat ours by a record amount. Clearly, we have a lot of work to do.

We are wasting no time: As I also mentioned earlier, we will spend $6 billion in 2015 on improving our railroad's operation. That will amount to about 26% of estimated revenues (a calculation that serves as the industry's yardstick). Outlays of this magnitude are largely unheard of among railroads. For us, this percentage compares to our average of 18% in 2009-2013 and to U.P.'s projection for the near future of 16-17%. Our huge investments will soon lead to a system with greater capacity and much better service. Improved profits should follow.

Here are the key figures for Berkshire Hathaway Energy and BNSF:

Berkshire Hathaway Energy (89.9% owned)	*Earnings (in millions)*		
	2014	*2013*	*2012*
U.K. utilities	$ 527	$ 362	$ 429
Iowa utility	298	230	236
Nevada utilities	549	—	—
PacifiCorp (primarily Oregon and Utah)	1,010	982	737
Gas Pipelines (Northern Natural and Kern River)	379	385	383
HomeServices	139	139	82
Other (net)	236	4	91
Operating earnings before corporate interest and taxes	3,138	2,102	1,958
Interest	427	296	314
Income taxes	616	170	172
Net earnings	$ 2,095	$ 1,636	$ 1,472
Earnings applicable to Berkshire	$ 1,882	$ 1,470	$ 1,323

BNSF	*Earnings (in millions)*		
	2014	*2013*	*2012*
Revenues	$23,239	$22,014	$20,835
Operating expenses	16,237	15,357	14,835
Operating earnings before interest and taxes	7,002	6,657	6,000
Interest (net)	833	729	623
Income taxes	2,300	2,135	2,005
Net earnings	$ 3,869	$ 3,793	$ 3,372

Manufacturing, Service and Retailing Operations

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/14 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 5,765	Notes payable	$ 965
Accounts and notes receivable	8,264	Other current liabilities	9,734
Inventory	10,236	Total current liabilities	10,699
Other current assets	1,117		
Total current assets	25,382		
		Deferred taxes	3,801
Goodwill and other intangibles	28,107	Term debt and other liabilities	4,269
Fixed assets	13,806	Non-controlling interests	492
Other assets	3,793	Berkshire equity	51,827
	$71,088		$71,088

Earnings Statement (in millions)

	2014	*2013**	*2012**
Revenues	$97,689	$93,472	$81,432
Operating expenses	90,788	87,208	75,734
Interest expense	109	104	112
Pre-tax earnings	6,792	6,160	5,586
Income taxes and non-controlling interests	2,324	2,283	2,229
Net earnings	$ 4,468	$ 3,877	$ 3,357

*Earnings for 2012 and 2013 have been restated to exclude Marmon's leasing operations, which are now included in the Finance and Financial Products section.

Our income and expense data conforming to GAAP is on page 49. In contrast, the operating expense figures above are non-GAAP and exclude some purchase-accounting items (primarily the amortization of certain intangible assets). We present the data in this manner because Charlie and I believe the adjusted numbers more accurately reflect the true economic expenses and profits of the businesses aggregated in the table than do GAAP figures.

I won't explain all of the adjustments – some are tiny and arcane – but serious investors should understand the disparate nature of intangible assets. Some truly deplete over time, while others *in no way* lose value. For software, as a big example, amortization charges are very real expenses. The concept of making charges against other intangibles, such as the amortization of customer relationships, however, arises through purchase-accounting rules and clearly does not reflect reality. GAAP accounting draws no distinction between the two types of charges. Both, that is, are recorded as expenses when earnings are calculated – even though from an investor's viewpoint they could not be more different.

In the GAAP-compliant figures we show on page 49, amortization charges of $1.15 billion have been deducted as expenses. We would call about 20% of these "real," the rest not. The "non-real" charges, once non-existent at Berkshire, have become significant because of the many acquisitions we have made. Non-real amortization charges will almost certainly rise further as we acquire more companies.

The GAAP-compliant table on page 67 gives you the current status of our intangible assets. We now have $7.4 billion left to amortize, of which $4.1 billion will be charged over the next five years. Eventually, of course, every dollar of non-real costs becomes entirely charged off. When that happens, reported earnings increase even if true earnings are flat.

Depreciation charges, we want to emphasize, are different: Every dime of depreciation expense we report is a real cost. That's true, moreover, at most other companies. When CEOs tout EBITDA as a valuation guide, wire them up for a polygraph test.

Our public reports of earnings will, of course, continue to conform to GAAP. To embrace reality, however, you should remember to add back most of the amortization charges we report.

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To get back to our many manufacturing, service and retailing operations, they sell products ranging from lollipops to jet airplanes. Some of this sector's businesses, measured by earnings on unleveraged net *tangible* assets, enjoy terrific economics, producing profits that run from 25% after-tax to far more than 100%. Others generate good returns in the area of 12% to 20%. A few, however, have very poor returns, the result of some serious mistakes I made in my job of capital allocation. I was not misled: I simply was wrong in my evaluation of the economic dynamics of the company or the industry in which it operates.

Fortunately, my blunders normally involved relatively small acquisitions. Our large buys have generally worked out well and, in a few cases, more than well. I have not, nonetheless, made my last mistake in purchasing either businesses or stocks. Not everything works out as planned.

Viewed as a single entity, the companies in this group are an excellent business. They employed an average of $24 billion of net tangible assets during 2014 and, despite their holding large quantities of excess cash and using little leverage, earned 18.7% after-tax on that capital.

Of course, a business with terrific economics can be a bad investment if it is bought for too high a price. We have paid substantial premiums to net tangible assets for most of our businesses, a cost that is reflected in the large figure we show for goodwill. Overall, however, we are getting a decent return on the capital we have deployed in this sector. Furthermore, the intrinsic value of these businesses, in aggregate, exceeds their carrying value by a good margin, and that premium is likely to widen. Even so, the difference between intrinsic value and carrying value in both the insurance and regulated-industry segments is *far* greater. It is there that the truly big winners reside.

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We have far too many companies in this group to comment on them individually. Moreover, their competitors – both current and potential – read this report. In a few of our businesses we might be disadvantaged if others knew our numbers. In some of our operations that are not of a size material to an evaluation of Berkshire, therefore, we only disclose what is required. You can find a good bit of detail about many of our operations, however, on pages 97-100.

Finance and Financial Products

This year we include in this section Marmon's very sizable leasing operations, whose wares are railcars, containers and cranes. We have also restated the previous two years to reflect that change. Why have we made it? At one time there was a large minority ownership at Marmon, and I felt it was more understandable to include all of the company's operations in one place. Today we own virtually 100% of Marmon, which makes me think you will gain more insight into our various businesses if we include Marmon's leasing operations under this heading. (The figures for the many dozens of Marmon's other businesses remain in the previous section.)

Our other leasing and rental operations are conducted by CORT (furniture) and XTRA (semi-trailers). These companies are industry leaders and have substantially increased their earnings as the American economy has gained strength. Both companies have invested more money in new equipment than have many of their competitors, and that's paying off.

Kevin Clayton has again delivered an industry-leading performance at Clayton Homes, the largest home builder in America. Last year, Clayton sold 30,871 homes, about 45% of the manufactured homes bought by Americans. When we purchased Clayton in 2003 for $1.7 billion, its share was 14%.

Key to Clayton's earnings is the company's $13 billion mortgage portfolio. During the financial panic of 2008 and 2009, when funding for the industry dried up, Clayton was able to keep lending because of Berkshire's backing. In fact, we continued during that period to finance our competitors' retail sales as well as our own.

Many of Clayton's borrowers have low incomes and mediocre FICO scores. But thanks to the company's sensible lending practices, its portfolio performed well during the recession, meaning a very high percentage of our borrowers kept their homes. Our blue-collar borrowers, in many cases, proved much better credit risks than their higher-income brethren.

At Marmon's railroad-car operation, lease rates have improved substantially over the past few years. The nature of this business, however, is that only 20% or so of our leases expire annually. Consequently, improved pricing only gradually works its way into our revenue stream. The trend, though, is strong. Our 105,000-car fleet consists largely of tank cars, but only 8% of those transport crude oil.

One further fact about our rail operation is important for you to know: Unlike many other lessors, we manufacture our own tank cars, about 6,000 of them in a good year. We do not book *any* profit when we transfer cars from our manufacturing division to our leasing division. Our fleet is consequently placed on our books at a "bargain" price. The difference between that figure and a "retail" price is only slowly reflected in our earnings through smaller annual depreciation charges that we enjoy over the 30-year life of the car. Because of that fact as well as others, Marmon's rail fleet is worth considerably more than the $5 billion figure at which it is carried on our books.

Here's the earnings recap for this sector:

	2014	*2013*	*2012*
		(in millions)	
Berkadia (our 50% share)	$ 122	$ 80	$ 35
Clayton	558	416	255
CORT	36	40	42
Marmon – Containers and Cranes	238	226	246
Marmon – Railcars	442	353	299
XTRA	147	125	106
Net financial income*	296	324	410
	$ 1,839	$ 1,564	$ 1,393

* Excludes capital gains or losses

Investments

Below we list our fifteen common stock investments that at yearend had the largest market value.

*Shares***	*Company*	*Percentage of Company Owned*	*12/31/14* *Cost**	*Market*
			(in millions)	
151,610,700	American Express Company	14.8	$ 1,287	$ 14,106
400,000,000	The Coca-Cola Company	9.2	1,299	16,888
18,513,482	DaVita HealthCare Partners Inc.	8.6	843	1,402
15,430,586	Deere & Company	4.5	1,253	1,365
24,617,939	DIRECTV	4.9	1,454	2,134
13,062,594	The Goldman Sachs Group, Inc.	3.0	750	2,532
76,971,817	International Business Machines Corp.	7.8	13,157	12,349
24,669,778	Moody's Corporation	12.1	248	2,364
20,060,390	Munich Re	11.8	2,990	4,023
52,477,678	The Procter & Gamble Company	1.9	336	4,683 ***
22,169,930	Sanofi	1.7	1,721	2,032
96,890,665	U.S. Bancorp	5.4	3,033	4,355
43,387,980	USG Corporation	30.0	836	1,214
67,707,544	Wal-Mart Stores, Inc.	2.1	3,798	5,815
483,470,853	Wells Fargo & Company	9.4	11,871	26,504
	Others		10,180	15,704
	Total Common Stocks Carried at Market		$55,056	$ 117,470

*This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required under GAAP rules.

**Excludes shares held by pension funds of Berkshire subsidiaries.

***Held under contract of sale for this amount.

Berkshire has one major equity position that is not included in the table: We can buy 700 million shares of Bank of America at any time prior to September 2021 for $5 billion. At yearend these shares were worth $12.5 billion. We are likely to purchase the shares just before expiration of our option. In the meantime, it is important for you to realize that Bank of America is, in effect, our fourth largest equity investment – and one we value highly.

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Attentive readers will notice that Tesco, which last year appeared in the list of our largest common stock investments, is now absent. An attentive *investor*, I'm embarrassed to report, would have sold Tesco shares earlier. I made a big mistake with this investment by dawdling.

At the end of 2012 we owned 415 million shares of Tesco, then and now the leading food retailer in the U.K. and an important grocer in other countries as well. Our cost for this investment was $2.3 billion, and the market value was a similar amount.

In 2013, I soured somewhat on the company's then-management and sold 114 million shares, realizing a profit of $43 million. My leisurely pace in making sales would prove expensive. Charlie calls this sort of behavior "thumb-sucking." (Considering what my delay cost us, he is being kind.)

During 2014, Tesco's problems worsened by the month. The company's market share fell, its margins contracted and accounting problems surfaced. In the world of business, bad news often surfaces serially: You see a cockroach in your kitchen; as the days go by, you meet his relatives.

We sold Tesco shares throughout the year and are now out of the position. (The company, we should mention, has hired new management, and we wish them well.) Our after-tax loss from this investment was $444 million, about 1/5 of 1% of Berkshire's net worth. In the past 50 years, we have only once realized an investment loss that at the time of sale cost us 2% of our net worth. Twice, we experienced 1% losses. All three of these losses occurred in the 1974-1975 period, when we sold stocks that were very cheap in order to buy others we believed to be even cheaper.

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Our investment results have been helped by a terrific tailwind. During the 1964-2014 period, the S&P 500 rose from 84 to 2,059, which, with reinvested dividends, generated the overall return of 11,196% shown on page 2. Concurrently, the purchasing power of the dollar declined a staggering 87%. That decrease means that it now takes $1 to buy what could be bought for 13¢ in 1965 (as measured by the Consumer Price Index).

There is an important message for investors in that disparate performance between stocks and dollars. Think back to our 2011 annual report, in which we defined investing as "the transfer to others of purchasing power now with the reasoned expectation of receiving more purchasing power – *after taxes have been paid on nominal gains* – in the future."

The unconventional, but inescapable, conclusion to be drawn from the past fifty years is that it has been *far* safer to invest in a diversified collection of American businesses than to invest in securities – Treasuries, for example – whose values have been tied to American currency. That was also true in the preceding half-century, a period including the Great Depression and two world wars. Investors should heed this history. To one degree or another it is almost certain to be repeated during the next century.

Stock prices will always be far more *volatile* than cash-equivalent holdings. *Over the long term*, however, currency-denominated instruments are *riskier* investments – *far* riskier investments – than widely-diversified stock portfolios that are bought over time and that are owned in a manner invoking only token fees and commissions. That lesson has not customarily been taught in business schools, where volatility is almost universally used as a proxy for risk. Though this pedagogic assumption makes for easy teaching, it is dead wrong: Volatility is *far* from synonymous with risk. Popular formulas that equate the two terms lead students, investors and CEOs astray.

It is true, of course, that owning equities for a day or a week or a year is far riskier (in both nominal and purchasing-power terms) than leaving funds in cash-equivalents. That is relevant to certain investors – say, investment banks – whose viability can be threatened by declines in asset prices and which might be forced to sell securities during depressed markets. Additionally, any party that might have meaningful near-term needs for funds should keep appropriate sums in Treasuries or insured bank deposits.

For the great majority of investors, however, who can – and *should* – invest with a multi-decade horizon, quotational declines are unimportant. Their focus should remain fixed on attaining significant gains in purchasing power over their investing lifetime. For them, a diversified equity portfolio, *bought over time*, will prove far less risky than dollar-based securities.

If the investor, instead, fears price volatility, erroneously viewing it as a measure of risk, he may, ironically, end up doing some very risky things. Recall, if you will, the pundits who six years ago bemoaned falling stock prices and advised investing in "safe" Treasury bills or bank certificates of deposit. People who heeded this sermon are now earning a pittance on sums they had previously expected would finance a pleasant retirement. (The S&P 500 was then below 700; now it is about 2,100.) If not for their fear of meaningless price volatility, these investors could have assured themselves of a good income for life by simply buying a very low-cost index fund whose dividends would trend upward over the years and whose principal would grow as well (with many ups and downs, to be sure).

Investors, of course, can, *by their own behavior*, make stock ownership highly risky. And many do. Active trading, attempts to "time" market movements, inadequate diversification, the payment of high and unnecessary fees to managers and advisors, and the use of borrowed money can destroy the decent returns that a life-long owner of equities would otherwise enjoy. Indeed, borrowed money has *no* place in the investor's tool kit: *Anything* can happen *anytime* in markets. And no advisor, economist, or TV commentator – and definitely not Charlie nor I – can tell you when chaos will occur. Market forecasters will fill your ear but will never fill your wallet.

The commission of the investment sins listed above is not limited to "the little guy." Huge institutional investors, viewed as a group, have long underperformed the unsophisticated index-fund investor who simply sits tight for decades. A major reason has been fees: Many institutions pay substantial sums to consultants who, in turn, recommend high-fee managers. And that is a fool's game.

There are a few investment managers, of course, who are very good – though in the short run, it's difficult to determine whether a great record is due to luck or talent. Most advisors, however, are far better at generating high fees than they are at generating high returns. In truth, their core competence is salesmanship. Rather than listen to their siren songs, investors – large and small – should instead read Jack Bogle's *The Little Book of Common Sense Investing*.

Decades ago, Ben Graham pinpointed the blame for investment failure, using a quote from Shakespeare: "The fault, dear Brutus, is not in our stars, but in ourselves."

The Annual Meeting

The annual meeting will be held on Saturday, May 2nd at the CenturyLink Center. Last year's attendance of 39,000 set a record, and we expect a further increase this year as we celebrate our Golden Anniversary. Be there when the doors open at 7 a.m.

Berkshire's talented Carrie Sova will again be in charge. Carrie joined us six years ago at the age of 24 as a secretary. Then, four years ago, I asked her to take charge of the meeting – a huge undertaking, requiring a multitude of skills – and she jumped at the chance. Carrie is unflappable, ingenious and expert at bringing out the best in the hundreds who work with her. She is aided by our entire home office crew who enjoy pitching in to make the weekend fun and informative for our owners.

And, yes, we also try to sell our visiting shareholders our products while they're here. In fact, this year we will substantially increase the hours available for purchases, opening for business at the CenturyLink on Friday, May 1st, from noon to 5 p.m. as well as the usual 7 a.m. to 4 p.m. on meeting day. So bring a smile to Charlie's face and do some serious shopping.

Get up early on Saturday morning. At 6:20 a.m., Norman and Jake, two Texas longhorns each weighing about a ton, will proceed down 10th Street to the CenturyLink. Aboard them will be a couple of our Justin Boot executives, who do double duty as cowboys. Following the steers will be four horses pulling a Wells Fargo stagecoach. Berkshire already markets planes, trains and automobiles. Adding steers and stagecoaches to our portfolio should seal our reputation as America's all-purpose transportation company.

At about 7:30 a.m. on Saturday, we will have our fourth International Newspaper Tossing Challenge. Our target again will be a Clayton Home porch, located precisely 35 feet from the throwing line. When I was a teenager – in my one brief flirtation with honest labor – I tossed about 500,000 papers. So I think I'm pretty good. Challenge me! Humiliate me! Knock me down a peg! I'll buy a Dilly Bar for anyone who lands his or her throw closer to the doorstep than I do. The papers will run 36 to 42 pages, and you must fold them yourself (no rubber bands allowed). I'll present a special prize to the 12-or-under contestant who makes the best toss. Deb Bosanek will be the judge.

At 8:30 a.m., a new Berkshire movie will be shown. An hour later, we will start the question-and-answer period, which (with a break for lunch at CenturyLink's stands) will last until 3:30 p.m. After a short recess, Charlie and I will convene the annual meeting at 3:45 p.m. This business session typically lasts only a half hour or so.

Your venue for shopping will be the 194,300-square-foot hall that adjoins the meeting and in which products from dozens of Berkshire subsidiaries will be for sale. If you don't get your shopping done on Friday, slip out while Charlie's talking on Saturday and binge on our bargains. Check the terrific BNSF railroad layout also. Even though I'm 84, it still excites me.

Last year you did your part as a shopper, and most of our businesses racked up record sales. In a nine-hour period on Saturday, we sold 1,385 pairs of Justin boots (that's a pair every 23 seconds), 13,440 pounds of See's candy, 7,276 pairs of Wells Lamont work gloves and 10,000 bottles of Heinz ketchup. Heinz has a new mustard product, so both mustard and ketchup will be available this year. (Buy both!) Now that we are open for business on Friday as well, we expect new records in every precinct.

Brooks, our running-shoe company, will again have a special commemorative shoe to offer at the meeting. After you purchase a pair, wear them the next day at our third annual "Berkshire 5K," an 8 a.m. race starting at the CenturyLink. Full details for participating will be included in the Visitor's Guide that will be sent to you with your credentials for the meeting. Entrants in the race will find themselves running alongside many of Berkshire's managers, directors and associates. (Charlie and I, however, will sleep in.)

A GEICO booth in the shopping area will be staffed by a number of the company's top counselors from around the country. Stop by for a quote. In most cases, GEICO will be able to give you a shareholder discount (usually 8%). This special offer is permitted by 44 of the 51 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another discount, such as that available to certain groups.) Bring the details of your existing insurance and check out our price. We can save many of you real money.

Be sure to visit the Bookworm. It will carry about 35 books and DVDs, among them a couple of new titles. Last year, many shareholders purchased Max Olson's compilation of Berkshire letters going back to 1965, and he has produced an updated edition for the meeting. We also expect to be selling an inexpensive book commemorating our fifty years. It's currently a work in process, but I expect it to contain a wide variety of historical material, including documents from the 19th Century.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to both the meeting and other events. Airlines have sometimes jacked up prices for the Berkshire weekend. If you are coming from far away, compare the cost of flying to Kansas City vs. Omaha. The drive between the two cities is about 2½ hours, and it may be that Kansas City can save you significant money, particularly if you had planned to rent a car in Omaha. The savings for a couple could run to $1,000 or more. Spend that money with us.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. Last year in the week surrounding the meeting, the store did a record $40,481,817 of business. (An average week for NFM's Omaha store is about $9 million.)

To obtain the Berkshire discount at NFM, you must make your purchases between Tuesday, April 28th and Monday, May 4th inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. NFM is open from 10 a.m. to 9 p.m. Monday through Friday, 10 a.m. to 9:30 p.m. on Saturday and 10 a.m. to 8 p.m. on Sunday. From 5:30 p.m. to 8 p.m. on Saturday, NFM is having a picnic to which you are all invited.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 9 p.m. on Friday, May 1st. The second, the main gala, will be held on Sunday, May 3rd, from 9 a.m. to 4 p.m. On Saturday, we will remain open until 6 p.m. In recent years, our three-day volume has far exceeded our sales in all of December, normally a jeweler's best month.

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 27th through Saturday, May 9th. During that period, please identify yourself as a shareholder by presenting your meeting credentials or a brokerage statement that shows you are a Berkshire holder.

On Sunday, in the mall outside of Borsheims, Norman Beck, a remarkable magician from Dallas, will bewilder onlookers. Additionally, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play bridge with our shareholders on Sunday afternoon. Don't play them for money.

My friend, Ariel Hsing, will be in the mall as well on Sunday, taking on challengers at table tennis. I met Ariel when she was nine and even then I was unable to score a point against her. Now, she's a sophomore at Princeton, having already represented the United States in the 2012 Olympics. If you don't mind embarrassing yourself, test your skills against her, beginning at 1 p.m. Bill Gates and I will lead off and try to soften her up.

Gorat's and Piccolo's will again be open exclusively for Berkshire shareholders on Sunday, May 3rd. Both will be serving until 10 p.m., with Gorat's opening at 1 p.m. and Piccolo's opening at 4 p.m. These restaurants are my favorites, and I will eat at both of them on Sunday evening. Remember: To make a reservation at Gorat's, call 402-551-3733 on April 1st (*but not before*); for Piccolo's, call 402-346-2865. At Piccolo's, order a giant root beer float for dessert. Only sissies get the small one.

We will again have the same three financial journalists lead the question-and-answer period at the meeting, asking Charlie and me questions that shareholders have submitted to them by e-mail. The journalists and their e-mail addresses are: Carol Loomis, who retired last year after sixty years at Fortune, but remains *the* expert on business and financial matters, and who may be e-mailed at loomisbrk@gmail.com; Becky Quick, of CNBC, at BerkshireQuestions@cnbc.com; and Andrew Ross Sorkin, of The New York Times, at arsorkin@nytimes.com.

From the questions submitted, each journalist will choose the six he or she decides are the most interesting and important. The journalists have told me your question has the best chance of being selected if you keep it concise, avoid sending it in at the last moment, make it Berkshire-related and include no more than two questions in any e-mail you send them. (In your e-mail, let the journalist know if you would like your name mentioned if your question is asked.)

We will also have a panel of three analysts who follow Berkshire. This year the insurance specialist will be Gary Ransom of Dowling & Partners. Questions that deal with our non-insurance operations will come from Jonathan Brandt of Ruane, Cunniff & Goldfarb and Gregg Warren of Morningstar. Our hope is that the analysts and journalists will ask questions that add to our owners' understanding and knowledge of their investment.

Neither Charlie nor I will get so much as a clue about the questions headed our way. Some will be tough, for sure, and that's the way we like it. All told we expect at least 54 questions, which will allow for six from each analyst and journalist and for 18 from the audience. (Last year we had 62 in total.) The questioners from the audience will be chosen by means of 11 drawings that will take place at 8:15 a.m. on the morning of the annual meeting. Each of the 11 microphones installed in the arena and main overflow room will host, so to speak, a drawing.

While I'm on the subject of our owners' gaining knowledge, let me remind you that Charlie and I believe all shareholders should simultaneously have access to new information that Berkshire releases and should also have adequate time to analyze it. That's why we try to issue financial data late on Fridays or early on Saturdays and why our annual meeting is always held on a Saturday. We do not talk one-on-one to large institutional investors or analysts, treating them instead as we do all other shareholders.

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We get terrific help at meeting time from literally thousands of Omaha residents and businesses who want you to enjoy yourselves. This year, because we expect record attendance, we have worried about a shortage of hotel rooms. To deal with that possible problem, Airbnb is making a special effort to obtain listings for the period around meeting time and is likely to have a wide array of accommodations to offer. Airbnb's services may be especially helpful to shareholders who expect to spend only a single night in Omaha and are aware that last year a few hotels required guests to pay for a minimum of three nights. That gets expensive. Those people on a tight budget should check the Airbnb website.

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For good reason, I regularly extol the accomplishments of our operating managers. They are truly All-Stars who run their businesses as if they were the only asset owned by their families. I believe the mindset of our managers also to be as shareholder-oriented as can be found in the universe of large publicly-owned companies. Most of our managers have no financial need to work. The joy of hitting business "home runs" means as much to them as their paycheck.

Equally important, however, are the 24 men and women who work with me at our corporate office. This group efficiently deals with a multitude of SEC and other regulatory requirements, files a 24,100-page Federal income tax return and oversees the filing of 3,400 state tax returns, responds to countless shareholder and media inquiries, gets out the annual report, prepares for the country's largest annual meeting, coordinates the Board's activities – and the list goes on and on.

They handle all of these business tasks cheerfully and with unbelievable efficiency, making my life easy and pleasant. Their efforts go beyond activities strictly related to Berkshire: Last year they dealt with the 40 universities (selected from 200 applicants) who sent students to Omaha for a Q&A day with me. They also handle all kinds of requests that I receive, arrange my travel, and even get me hamburgers and french fries (smothered in Heinz ketchup, of course) for lunch. No CEO has it better; I truly do feel like tap dancing to work every day.

Last year, for the annual report, we dropped our 48-year-old "no pictures" policy – who says I'm not flexible? – and ran a photo of our remarkable home-office crew that was taken at our Christmas lunch. I didn't warn the gang of the public exposure they were to receive, so they didn't have on their Sunday best. This year was a different story: On the facing page you will see what our group looks like when they think someone will be noticing. However they dress, their performance is mind-boggling.

Come meet them on May 2nd and enjoy our Woodstock for Capitalists.

February 27, 2015

Warren E. Buffett
Chairman of the Board

BERKSHIRE HATHAWAY INC.

ACQUISITION CRITERIA

We are eager to hear *from principals or their representatives* about businesses that meet all of the following criteria:

(1) Large purchases (at least $75 million of pre-tax earnings unless the business will fit into one of our existing units),
(2) Demonstrated consistent earning power (future projections are of no interest to us, nor are "turnaround" situations),
(3) Businesses earning good returns on equity while employing little or no debt,
(4) Management in place (we can't supply it),
(5) Simple businesses (if there's lots of technology, we won't understand it),
(6) An offering price (we don't want to waste our time or that of the seller by talking, even preliminarily, about a transaction when price is unknown).

The larger the company, the greater will be our interest: We would like to make an acquisition in the $5-20 billion range. *We are not interested, however, in receiving suggestions about purchases we might make in the general stock market.*

We will not engage in unfriendly takeovers. We can promise complete confidentiality and a very fast answer – customarily within five minutes – as to whether we're interested. We prefer to buy for cash, but will consider issuing stock when we receive as much in intrinsic business value as we give. *We don't participate in auctions*.

Charlie and I frequently get approached about acquisitions that don't come close to meeting our tests: We've found that if you advertise an interest in buying collies, a lot of people will call hoping to sell you their cocker spaniels. A line from a country song expresses our feeling about new ventures, turnarounds, or auction-like sales: "When the phone don't ring, you'll know it's me."



Berkshire – Past, Present and Future

In the Beginning

On May 6, 1964, Berkshire Hathaway, then run by a man named Seabury Stanton, sent a letter to its shareholders offering to buy 225,000 shares of its stock for $11.375 per share. I had expected the letter; I was surprised by the price.

Berkshire then had 1,583,680 shares outstanding. About 7% of these were owned by Buffett Partnership Ltd. ("BPL"), an investing entity that I managed and in which I had virtually all of my net worth. Shortly before the tender offer was mailed, Stanton had asked me at what price BPL would sell its holdings. I answered $11.50, and he said, "Fine, we have a deal." Then came Berkshire's letter, offering an eighth of a point less. I bristled at Stanton's behavior and didn't tender.

That was a monumentally stupid decision.

Berkshire was then a northern textile manufacturer mired in a terrible business. The industry in which it operated was heading south, both metaphorically and physically. And Berkshire, for a variety of reasons, was unable to change course.

That was true even though the industry's problems had long been widely understood. Berkshire's own Board minutes of July 29, 1954, laid out the grim facts: "The textile industry in New England started going out of business forty years ago. During the war years this trend was stopped. The trend must continue until supply and demand have been balanced."

About a year after that board meeting, Berkshire Fine Spinning Associates and Hathaway Manufacturing – both with roots in the 19th Century – joined forces, taking the name we bear today. With its fourteen plants and 10,000 employees, the merged company became the giant of New England textiles. What the two managements viewed as a merger agreement, however, soon morphed into a suicide pact. During the seven years following the consolidation, Berkshire operated at an overall loss, and its net worth shrunk by 37%.

Meanwhile, the company closed nine plants, sometimes using the liquidation proceeds to repurchase shares. And that pattern caught my attention.

I purchased BPL's first shares of Berkshire in December 1962, anticipating more closings and more repurchases. The stock was then selling for $7.50, a wide discount from per-share working capital of $10.25 and book value of $20.20. Buying the stock at that price was like picking up a discarded cigar butt that had one puff remaining in it. Though the stub might be ugly and soggy, the puff would be free. Once that momentary pleasure was enjoyed, however, no more could be expected.

Berkshire thereafter stuck to the script: It soon closed another two plants, and in that May 1964 move, set out to repurchase shares with the shutdown proceeds. The price that Stanton offered was 50% above the cost of our original purchases. There it was – my free puff, just waiting for me, after which I could look elsewhere for other discarded butts.

Instead, irritated by Stanton's chiseling, I ignored his offer and began to aggressively buy more Berkshire shares.

By April 1965, BPL owned 392,633 shares (out of 1,017,547 then outstanding) and at an early-May board meeting we formally took control of the company. Through Seabury's and my childish behavior – after all, what was an eighth of a point to either of us? – he lost his job, and I found myself with more than 25% of BPL's capital invested in a terrible business about which I knew very little. I became the dog who caught the car.

Because of Berkshire's operating losses and share repurchases, its net worth at the end of fiscal 1964 had fallen to $22 million from $55 million at the time of the 1955 merger. The full $22 million was required by the textile operation: The company had no excess cash and owed its bank $2.5 million. (Berkshire's 1964 annual report is reproduced on pages 130-142.)

For a time I got lucky: Berkshire immediately enjoyed two years of good operating conditions. Better yet, its earnings in those years were free of income tax because it possessed a large loss carry-forward that had arisen from the disastrous results in earlier years.

Then the honeymoon ended. During the 18 years following 1966, we struggled unremittingly with the textile business, all to no avail. But stubbornness – stupidity? – has its limits. In 1985, I finally threw in the towel and closed the operation.

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Undeterred by my first mistake of committing much of BPL's resources to a dying business, I quickly compounded the error. Indeed, my second blunder was far more serious than the first, eventually becoming the most costly in my career.

Early in 1967, I had Berkshire pay $8.6 million to buy National Indemnity Company ("NICO"), a small but promising Omaha-based insurer. (A tiny sister company was also included in the deal.) Insurance was in my sweet spot: I understood and liked the industry.

Jack Ringwalt, the owner of NICO, was a long-time friend who wanted to sell to me – me, personally. In no way was his offer intended for Berkshire. So why did I purchase NICO for Berkshire rather than for BPL? I've had 48 years to think about that question, and I've yet to come up with a good answer. I simply made a colossal mistake.

If BPL had been the purchaser, my partners and I would have owned 100% of a fine business, destined to form the base for building the company Berkshire has become. Moreover, our growth would not have been impeded for nearly two decades by the unproductive funds imprisoned in the textile operation. Finally, our subsequent acquisitions would have been owned in their entirety by my partners and me rather than being 39%-owned by the legacy shareholders of Berkshire, to whom we had no obligation. Despite these facts staring me in the face, I opted to marry 100% of an excellent business (NICO) to a 61%-owned terrible business (Berkshire Hathaway), a decision that eventually diverted $100 billion or so from BPL partners to a collection of strangers.

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One more confession and then I'll go on to more pleasant topics: Can you believe that in 1975 I bought Waumbec Mills, another New England textile company? Of course, the purchase price was a "bargain" based on the assets we received and the *projected* synergies with Berkshire's existing textile business. Nevertheless – surprise, surprise – Waumbec was a disaster, with the mill having to be closed down not many years later.

And now some good news: The northern textile industry is finally extinct. You need no longer panic if you hear that I've been spotted wandering around New England.

Charlie Straightens Me Out

My cigar-butt strategy worked very well while I was managing small sums. Indeed, the many dozens of free puffs I obtained in the 1950s made that decade by far the best of my life for both relative and absolute investment performance.

Even then, however, I made a few exceptions to cigar butts, the most important being GEICO. Thanks to a 1951 conversation I had with Lorimer Davidson, a wonderful man who later became CEO of the company, I learned that GEICO was a terrific business and promptly put 65% of my $9,800 net worth into its shares. Most of my gains in those early years, though, came from investments in mediocre companies that traded at bargain prices. Ben Graham had taught me that technique, and it worked.

But a major weakness in this approach gradually became apparent: Cigar-butt investing was scalable only to a point. With large sums, it would never work well.

In addition, though marginal businesses purchased at cheap prices may be attractive as short-term investments, they are the wrong foundation on which to build a large and enduring enterprise. Selecting a marriage partner clearly requires more demanding criteria than does dating. (Berkshire, it should be noted, would have been a highly satisfactory "date": If we had taken Seabury Stanton's $11.375 offer for our shares, BPL's weighted annual return on its Berkshire investment would have been about 40%.)

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It took Charlie Munger to break my cigar-butt habits and set the course for building a business that could combine huge size with satisfactory profits. Charlie had grown up a few hundred feet from where I now live and as a youth had worked, as did I, in my grandfather's grocery store. Nevertheless, it was 1959 before I met Charlie, long after he had left Omaha to make Los Angeles his home. I was then 28 and he was 35. The Omaha doctor who introduced us predicted that we would hit it off – and we did.

If you've attended our annual meetings, you know Charlie has a wide-ranging brilliance, a prodigious memory, and some firm opinions. I'm not exactly wishy-washy myself, and we sometimes don't agree. In 56 years, however, we've never had an argument. When we differ, Charlie usually ends the conversation by saying: "Warren, think it over and you'll agree with me because you're smart and I'm right."

What most of you do *not* know about Charlie is that architecture is among his passions. Though he began his career as a practicing lawyer (with his time billed at $15 per hour), Charlie made his first real money in his 30s by designing and building five apartment projects near Los Angeles. Concurrently, he designed the house that he lives in today – some 55 years later. (Like me, Charlie can't be budged if he is happy in his surroundings.) In recent years, Charlie has designed large dorm complexes at Stanford and the University of Michigan and today, at age 91, is working on another major project.

From my perspective, though, Charlie's most important architectural feat was the design of today's Berkshire. The blueprint he gave me was simple: Forget what you know about buying fair businesses at wonderful prices; instead, buy wonderful businesses at fair prices.

Altering my behavior is not an easy task (ask my family). I had enjoyed reasonable success without Charlie's input, so why should I listen to a lawyer who had never spent a day in business school (when – ahem – *I* had attended *three*). But Charlie never tired of repeating his maxims about business and investing to me, and his logic was irrefutable. Consequently, Berkshire has been built to Charlie's blueprint. My role has been that of general contractor, with the CEOs of Berkshire's subsidiaries doing the real work as sub-contractors.

The year 1972 was a turning point for Berkshire (though not without occasional backsliding on my part – remember my 1975 purchase of Waumbec). We had the opportunity then to buy See's Candy for Blue Chip Stamps, a company in which Charlie, I and Berkshire had major stakes, and which was later merged into Berkshire.

See's was a legendary West Coast manufacturer and retailer of boxed chocolates, then annually earning about $4 million pre-tax while utilizing only $8 million of net tangible assets. Moreover, the company had a huge asset that did not appear on its balance sheet: a broad and durable competitive advantage that gave it significant pricing power. That strength was virtually certain to give See's major gains in earnings over time. Better yet, these would materialize with only minor amounts of incremental investment. In other words, See's could be expected to gush cash for decades to come.

The family controlling See's wanted $30 million for the business, and Charlie rightly said it was worth that much. But I didn't want to pay more than $25 million and wasn't all that enthusiastic even at that figure. (A price that was three times net tangible assets made me gulp.) My misguided caution could have scuttled a terrific purchase. But, luckily, the sellers decided to take our $25 million bid.

To date, See's has earned $1.9 billion pre-tax, with its growth having required added investment of only $40 million. See's has thus been able to distribute huge sums that have helped Berkshire buy other businesses that, in turn, have themselves produced large distributable profits. (Envision rabbits breeding.) Additionally, through watching See's in action, I gained a business education about the value of powerful brands that opened my eyes to many other profitable investments.

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Even with Charlie's blueprint, I have made plenty of mistakes since Waumbec. The most gruesome was Dexter Shoe. When we purchased the company in 1993, it had a terrific record and in no way looked to me like a cigar butt. Its competitive strengths, however, were soon to evaporate because of foreign competition. And I simply didn't see that coming.

Consequently, Berkshire paid $433 million for Dexter and, rather promptly, its value went to zero. GAAP accounting, however, doesn't come close to recording the magnitude of my error. The fact is that I gave Berkshire stock to the sellers of Dexter rather than cash, and the shares I used for the purchase are now worth about $5.7 billion. As a financial disaster, this one deserves a spot in the Guinness Book of World Records.

Several of my subsequent errors also involved the use of Berkshire shares to purchase businesses whose earnings were destined to simply limp along. Mistakes of that kind are deadly. Trading shares of a wonderful business – which Berkshire most certainly is – for ownership of a so-so business irreparably destroys value.

We've also suffered financially when this mistake has been committed by companies whose shares Berkshire has owned (with the errors sometimes occurring while I was serving as a director). Too often CEOs seem blind to an elementary reality: The intrinsic value of the shares you give in an acquisition must not be greater than the intrinsic value of the business you receive.

I've yet to see an investment banker quantify this all-important math when he is presenting a stock-for-stock deal to the board of a potential acquirer. Instead, the banker's focus will be on describing "customary" premiums-to-market-price that are currently being paid for acquisitions – an absolutely asinine way to evaluate the attractiveness of an acquisition – or whether the deal will increase the acquirer's earnings-per-share (which in itself should be far from determinative). In striving to achieve the desired per-share number, a panting CEO and his "helpers" will often conjure up fanciful "synergies." (As a director of 19 companies over the years, I've never heard "dis-synergies" mentioned, though I've witnessed plenty of these once deals have closed.) Post mortems of acquisitions, in which reality is honestly compared to the original projections, are rare in American boardrooms. They should instead be standard practice.

I can promise you that long after I'm gone, Berkshire's CEO and Board will carefully make intrinsic value calculations before issuing shares in any acquisitions. You can't get rich trading a hundred-dollar bill for eight tens (even if your advisor has handed you an expensive "fairness" opinion endorsing that swap).

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Overall, Berkshire's acquisitions have worked out well – and *very* well in the case of a few large ones. So, too, have our investments in marketable securities. The latter are always valued on our balance sheet at their market prices so any gains – including those unrealized – are immediately reflected in our net worth. But the businesses we buy outright are never revalued upward on our balance sheet, even when we could sell them for many billions of dollars more than their carrying value. The unrecorded gains in the value of Berkshire's subsidiaries have become huge, with these growing at a particularly fast pace in the last decade.

Listening to Charlie has paid off.

Berkshire Today

Berkshire is now a sprawling conglomerate, constantly trying to sprawl further.

Conglomerates, it should be acknowledged, have a terrible reputation with investors. And they richly deserve it. Let me first explain why they are in the doghouse, and then I will go on to describe why the conglomerate form brings huge and enduring advantages to Berkshire.

Since I entered the business world, conglomerates have enjoyed several periods of extreme popularity, the silliest of which occurred in the late 1960s. The drill for conglomerate CEOs then was simple: By personality, promotion or dubious accounting – and often by all three – these managers drove a fledgling conglomerate's stock to, say, 20 times earnings and then issued shares as fast as possible to acquire another business selling at ten-or-so times earnings. They immediately applied "pooling" accounting to the acquisition, which – with not a dime's worth of change in the underlying businesses – automatically increased per-share earnings, and used the rise as proof of managerial genius. They next explained to investors that this sort of talent justified the maintenance, or even the enhancement, of the acquirer's p/e multiple. And, finally, they promised to endlessly repeat this procedure and thereby create ever-increasing per-share earnings.

Wall Street's love affair with this hocus-pocus intensified as the 1960s rolled by. The Street's denizens are always ready to suspend disbelief when dubious maneuvers are used to manufacture rising per-share earnings, particularly if these acrobatics produce mergers that generate huge fees for investment bankers. Auditors willingly sprinkled their holy water on the conglomerates' accounting and sometimes even made suggestions as to how to further juice the numbers. For many, gushers of easy money washed away ethical sensitivities.

Since the per-share earnings gains of an expanding conglomerate came from exploiting p/e differences, its CEO had to search for businesses selling at low multiples of earnings. These, of course, were characteristically mediocre businesses with poor long-term prospects. This incentive to bottom-fish usually led to a conglomerate's collection of underlying businesses becoming more and more junky. That mattered little to investors: It was deal velocity and pooling accounting they looked to for increased earnings.

The resulting firestorm of merger activity was fanned by an adoring press. Companies such as ITT, Litton Industries, Gulf & Western, and LTV were lionized, and their CEOs became celebrities. (These once-famous conglomerates are now long gone. As Yogi Berra said, "Every Napoleon meets his Watergate.")

Back then, accounting shenanigans of all sorts – many of them ridiculously transparent – were excused or overlooked. Indeed, having an accounting wizard at the helm of an expanding conglomerate was viewed as a huge plus: Shareholders in those instances could be sure that *reported* earnings would never disappoint, no matter how bad the operating realities of the business might become.

In the late 1960s, I attended a meeting at which an acquisitive CEO bragged of his "bold, imaginative accounting." Most of the analysts listening responded with approving nods, seeing themselves as having found a manager whose forecasts were certain to be met, whatever the business results might be.

Eventually, however, the clock struck twelve, and everything turned to pumpkins and mice. Once again, it became evident that business models based on the serial issuances of overpriced shares – just like chain-letter models – most assuredly redistribute wealth, but in no way create it. Both phenomena, nevertheless, periodically blossom in our country – they are every promoter's dream – though often they appear in a carefully-crafted disguise. The ending is always the same: Money flows from the gullible to the fraudster. And with stocks, unlike chain letters, the sums hijacked can be staggering.

At both BPL and Berkshire, we have *never* invested in companies that are hell-bent on issuing shares. That behavior is one of the surest indicators of a promotion-minded management, weak accounting, a stock that is overpriced and – all too often – outright dishonesty.

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So what do Charlie and I find so attractive about Berkshire's conglomerate structure? To put the case simply: If the conglomerate form is used judiciously, it is an ideal structure for maximizing long-term capital growth.

One of the heralded virtues of capitalism is that it efficiently allocates funds. The argument is that markets will direct investment to promising businesses and deny it to those destined to wither. That is true: With all its excesses, market-driven allocation of capital is usually far superior to any alternative.

Nevertheless, there are often obstacles to the rational movement of capital. As those 1954 Berkshire minutes made clear, capital withdrawals within the textile industry that should have been obvious were delayed for decades because of the vain hopes and self-interest of managements. Indeed, I myself delayed abandoning our obsolete textile mills for far too long.

A CEO with capital employed in a declining operation seldom elects to massively redeploy that capital into unrelated activities. A move of that kind would usually require that long-time associates be fired and mistakes be admitted. Moreover, it's unlikely *that* CEO would be the manager you would wish to handle the redeployment job even if he or she was inclined to undertake it.

At the shareholder level, taxes and frictional costs weigh heavily on individual investors when they attempt to reallocate capital among businesses and industries. Even tax-free institutional investors face major costs as they move capital because they usually need intermediaries to do this job. A lot of mouths with expensive tastes then clamor to be fed – among them investment bankers, accountants, consultants, lawyers and such capital-reallocators as leveraged buyout operators. Money-shufflers don't come cheap.

In contrast, a conglomerate such as Berkshire is perfectly positioned to allocate capital rationally and at minimal cost. Of course, form itself is no guarantee of success: We have made plenty of mistakes, and we will make more. Our structural advantages, however, are formidable.

At Berkshire, we can – without incurring taxes or much in the way of other costs – move huge sums from businesses that have limited opportunities for incremental investment to other sectors with greater promise. Moreover, we are free of historical biases created by lifelong association with a given industry and are not subject to pressures from colleagues having a vested interest in maintaining the status quo. That's important: If horses had controlled investment decisions, there would have been no auto industry.

Another major advantage we possess is the ability to buy *pieces* of wonderful businesses – a.k.a. common stocks. That's not a course of action open to most managements. Over our history, this strategic alternative has proved to be very helpful; a broad range of options always sharpens decision-making. The businesses we are offered by the stock market every day – in small pieces, to be sure – are often far more attractive than the businesses we are concurrently being offered in their entirety. Additionally, the gains we've realized from marketable securities have helped us make certain large acquisitions that would otherwise have been beyond our financial capabilities.

In effect, the world is Berkshire's oyster – a world offering us a range of opportunities far beyond those realistically open to most companies. We are limited, of course, to businesses whose economic prospects we can evaluate. And that's a serious limitation: Charlie and I have no idea what a great many companies will look like ten years from now. But that limitation is much smaller than that borne by an executive whose experience has been confined to a single industry. On top of that, we can profitably scale to a *far* larger size than the many businesses that are constrained by the limited potential of the single industry in which they operate.

I mentioned earlier that See's Candy had produced huge earnings compared to its modest capital requirements. We would have loved, of course, to intelligently use those funds to expand our candy operation. But our many attempts to do so were largely futile. So, without incurring tax inefficiencies or frictional costs, we have used the excess funds generated by See's to help purchase other businesses. If See's had remained a stand-alone company, its earnings would have had to be distributed to investors to redeploy, sometimes after being heavily depleted by large taxes and, almost always, by significant frictional and agency costs.

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Berkshire has one further advantage that has become increasingly important over the years: We are now the home of choice for the owners and managers of many outstanding businesses.

Families that own successful businesses have multiple options when they contemplate sale. Frequently, the best decision is to do nothing. There are worse things in life than having a prosperous business that one understands well. But sitting tight is seldom recommended by Wall Street. (Don't ask the barber whether you need a haircut.)

When one part of a family wishes to sell while others wish to continue, a public offering often makes sense. But, when owners wish to cash out entirely, they usually consider one of two paths.

The first is sale to a competitor who is salivating at the possibility of wringing "synergies" from the combining of the two companies. This buyer invariably contemplates getting rid of large numbers of the seller's associates, the very people who have helped the owner build his business. A caring owner, however – and there are plenty of them – usually does not want to leave his long-time associates sadly singing the old country song: "*She got the goldmine, I got the shaft.*"

The second choice for sellers is the Wall Street buyer. For some years, these purchasers accurately called themselves "leveraged buyout firms." When that term got a bad name in the early 1990s – remember RJR and *Barbarians at the Gate*? – these buyers hastily relabeled themselves "private-equity."

The name may have changed but that was all: Equity is dramatically *reduced* and debt is piled on in virtually all private-equity purchases. Indeed, the amount that a private-equity purchaser offers to the seller is in part determined by the buyer assessing the *maximum* amount of debt that can be placed on the acquired company.

Later, if things go well and equity begins to build, leveraged buy-out shops will often seek to re-leverage with new borrowings. They then typically use part of the proceeds to pay a huge dividend that drives equity sharply downward, sometimes even to a negative figure.

In truth, "equity" is a dirty word for many private-equity buyers; what they love is debt. And, because debt is currently so inexpensive, these buyers can frequently pay top dollar. Later, the business will be resold, often to another leveraged buyer. In effect, the business becomes a piece of merchandise.

Berkshire offers a third choice to the business owner who wishes to sell: a permanent home, in which the company's people and culture will be retained (though, occasionally, management changes will be needed). Beyond that, any business we acquire dramatically increases its financial strength and ability to grow. Its days of dealing with banks and Wall Street analysts are also forever ended.

Some sellers don't care about these matters. But, when sellers do, Berkshire does not have a lot of competition.

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Sometimes pundits propose that Berkshire spin-off certain of its businesses. These suggestions make no sense. Our companies are worth more as part of Berkshire than as separate entities. One reason is our ability to move funds between businesses or into new ventures instantly and without tax. In addition, certain costs duplicate themselves, in full or part, if operations are separated. Here's the most obvious example: Berkshire incurs nominal costs for its single board of directors; were our dozens of subsidiaries to be split off, the overall cost for directors would soar. So, too, would regulatory and administration expenditures.

Finally, there are sometimes important tax efficiencies for Subsidiary A because we own Subsidiary B. For example, certain tax credits that are available to our utilities are currently realizable only because we generate huge amounts of taxable income at other Berkshire operations. That gives Berkshire Hathaway Energy a major advantage over most public-utility companies in developing wind and solar projects.

Investment bankers, being paid as they are for action, constantly urge acquirers to pay 20% to 50% premiums over market price for publicly-held businesses. The bankers tell the buyer that the premium is justified for "control value" and for the wonderful things that are going to happen once the acquirer's CEO takes charge. (What acquisition-hungry manager will challenge *that* assertion?)

A few years later, bankers – bearing straight faces – again appear and just as earnestly urge spinning off the earlier acquisition in order to "unlock shareholder value." Spin-offs, of course, strip the owning company of its purported "control value" without any compensating payment. The bankers explain that the spun-off company will flourish because its management will be more entrepreneurial, having been freed from the smothering bureaucracy of the parent company. (So much for that talented CEO we met earlier.)

If the divesting company later wishes to reacquire the spun-off operation, it presumably would again be urged by its bankers to pay a hefty "control" premium for the privilege. (Mental "flexibility" of this sort by the banking fraternity has prompted the saying that fees too often lead to transactions rather than transactions leading to fees.)

It's possible, of course, that someday a spin-off or sale at Berkshire would be required by regulators. Berkshire carried out such a spin-off in 1979, when new regulations for bank holding companies forced us to divest a bank we owned in Rockford, Illinois.

Voluntary spin-offs, though, make no sense for us: We would lose control value, capital-allocation flexibility and, in some cases, important tax advantages. The CEOs who brilliantly run our subsidiaries now would have difficulty in being as effective if running a spun-off operation, given the operating and financial advantages derived from Berkshire's ownership. Moreover, the parent and the spun-off operations, once separated, would likely incur moderately greater costs than existed when they were combined.

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Before I depart the subject of spin-offs, let's look at a lesson to be learned from a conglomerate mentioned earlier: LTV. I'll summarize here, but those who enjoy a good financial story should read the piece about Jimmy Ling that ran in the October 1982 issue of *D Magazine*. Look it up on the Internet.

Through a lot of corporate razzle-dazzle, Ling had taken LTV from sales of only $36 million in 1965 to number 14 on the Fortune 500 list just two years later. Ling, it should be noted, had never displayed any managerial skills. But Charlie told me long ago to never underestimate the man who overestimates himself. And Ling had no peer in that respect.

Ling's strategy, which he labeled "project redeployment," was to buy a large company and then partially spin off its various divisions. In LTV's 1966 annual report, he explained the magic that would follow: "Most importantly, acquisitions must meet the test of the 2 plus 2 equals 5 (or 6) formula." The press, the public and Wall Street loved this sort of talk.

In 1967 Ling bought Wilson & Co., a huge meatpacker that also had interests in golf equipment and pharmaceuticals. Soon after, he split the parent into three businesses, Wilson & Co. (meatpacking), Wilson Sporting Goods and Wilson Pharmaceuticals, each of which was to be partially spun off. These companies quickly became known on Wall Street as Meatball, Golf Ball and Goof Ball.

Soon thereafter, it became clear that, like Icarus, Ling had flown too close to the sun. By the early 1970s, Ling's empire was melting, and he himself had been spun off from LTV . . . that is, *fired*.

Periodically, financial markets will become divorced from reality – you can count on that. More Jimmy Lings will appear. They will look and sound authoritative. The press will hang on their every word. Bankers will fight for their business. What they are saying will recently have "worked." Their early followers will be feeling very clever. Our suggestion: Whatever their line, never forget that 2+2 will always equal 4. And when someone tells you how old-fashioned that math is --- zip up your wallet, take a vacation and come back in a few years to buy stocks at cheap prices.

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Today Berkshire possesses (1) an unmatched collection of businesses, most of them now enjoying favorable economic prospects; (2) a cadre of outstanding managers who, with few exceptions, are unusually devoted to both the subsidiary they operate *and* to Berkshire; (3) an extraordinary diversity of earnings, premier financial strength and oceans of liquidity that we will maintain under *all* circumstances; (4) a first-choice ranking among many owners and managers who are contemplating sale of their businesses and (5) in a point related to the preceding item, a culture, distinctive in many ways from that of most large companies, that we have worked 50 years to develop and that is now rock-solid.

These strengths provide us a wonderful foundation on which to build.

The Next 50 Years at Berkshire

Now let's take a look at the road ahead. Bear in mind that if I had attempted 50 years ago to gauge what was coming, certain of my predictions would have been far off the mark. With that warning, I will tell you what I would say to my family today if they asked me about Berkshire's future.

- First and definitely foremost, I believe that the chance of permanent capital loss for patient Berkshire shareholders is as low as can be found among single-company investments. That's because our per-share *intrinsic business value* is almost certain to advance over time.

  This cheery prediction comes, however, with an important caution: If an investor's entry point into Berkshire stock is unusually high – at a price, say, approaching double book value, which Berkshire shares have occasionally reached – it may well be many years before the investor can realize a profit. In other words, a sound investment can morph into a rash speculation if it is bought at an elevated price. Berkshire is not exempt from this truth.

  Purchases of Berkshire that investors make at a price modestly above the level at which the company would repurchase its shares, however, should produce gains within a reasonable period of time. Berkshire's directors will only authorize repurchases at a price they believe to be *well below* intrinsic value. (In our view, that is an essential criterion for repurchases that is often ignored by other managements.)

  For those investors who plan to sell within a year or two after their purchase, I can offer *no* assurances, whatever the entry price. Movements of the general stock market during such abbreviated periods will likely be far more important in determining your results than the concomitant change in the intrinsic value of your Berkshire shares. As Ben Graham said many decades ago: "In the short-term the market is a voting machine; in the long-run it acts as a weighing machine." Occasionally, the voting decisions of investors – amateurs and professionals alike – border on lunacy.

  Since I know of no way to reliably predict market movements, I recommend that you purchase Berkshire shares *only* if you expect to hold them for at least five years. Those who seek short-term profits should look elsewhere.

  Another warning: Berkshire shares should not be purchased with borrowed money. There have been three times since 1965 when our stock has fallen about 50% from its high point. Someday, something close to this kind of drop will happen again, and no one knows when. Berkshire will almost certainly be a satisfactory holding for *investors*. But it could well be a disastrous choice for speculators employing leverage.

- I believe the chance of any event causing Berkshire to experience financial problems is essentially zero. We will always be prepared for the thousand-year flood; in fact, if it occurs we will be selling life jackets to the unprepared. Berkshire played an important role as a "first responder" during the 2008-2009 meltdown, and we have since more than doubled the strength of our balance sheet and our earnings potential. Your company is the Gibraltar of American business and will remain so.

  Financial staying power requires a company to maintain three strengths under *all* circumstances: (1) a large and reliable stream of earnings; (2) massive liquid assets and (3) *no* significant near-term cash requirements. Ignoring that last necessity is what usually leads companies to experience unexpected problems: Too often, CEOs of profitable companies feel they will always be able to refund maturing obligations, however large these are. In 2008-2009, many managements learned how perilous that mindset can be.

  Here's how we will *always* stand on the three essentials. First, our earnings stream is huge and comes from a vast array of businesses. Our shareholders now own many large companies that have durable competitive advantages, and we will acquire more of those in the future. Our diversification assures Berkshire's continued profitability, even if a catastrophe causes insurance losses that far exceed any previously experienced.

Next up is cash. At a healthy business, cash is sometimes thought of as something to be minimized – as an unproductive asset that acts as a drag on such markers as return on equity. Cash, though, is to a business as oxygen is to an individual: never thought about when it is present, the only thing in mind when it is absent.

American business provided a case study of that in 2008. In September of that year, many long-prosperous companies suddenly wondered whether their checks would bounce in the days ahead. Overnight, their financial oxygen disappeared.

At Berkshire, our "breathing" went uninterrupted. Indeed, in a three-week period spanning late September and early October, we supplied $15.6 *billion* of fresh money to American businesses.

We could do that because we always maintain at least $20 billion – and usually far more – in cash equivalents. And by that we mean U.S. Treasury bills, not other substitutes for cash that are claimed to deliver liquidity and actually do so, *except* when it is truly needed. When bills come due, only cash is legal tender. Don't leave home without it.

Finally – getting to our third point – we will never engage in operating or investment practices that can result in sudden demands for large sums. That means we will not expose Berkshire to short-term debt maturities of size nor enter into derivative contracts or other business arrangements that could require large collateral calls.

Some years ago, we became a party to certain derivative contracts that we believed were significantly mispriced and that had only minor collateral requirements. These have proved to be quite profitable. Recently, however, newly-written derivative contracts have required full collateralization. And that ended our interest in derivatives, regardless of what profit potential they might offer. We have not, for some years, written these contracts, except for a few needed for operational purposes at our utility businesses.

Moreover, we will not write insurance contracts that give policyholders the right to cash out at their option. Many *life* insurance products contain redemption features that make them susceptible to a "run" in times of extreme panic. Contracts of that sort, however, do not exist in the property-casualty world that we inhabit. If our premium volume should shrink, our float would decline – but only at a very slow pace.

The reason for our conservatism, which may impress some people as extreme, is that it is entirely predictable that people will occasionally panic, but not at all predictable when this will happen. Though practically all days are relatively uneventful, tomorrow is *always* uncertain. (I felt no special apprehension on December 6, 1941 or September 10, 2001.) And if you can't predict what tomorrow will bring, you must be prepared for whatever it does.

A CEO who is 64 and plans to retire at 65 may have his own special calculus in evaluating risks that have only a tiny chance of happening in a given year. He may, in fact, be "right" 99% of the time. Those odds, however, hold no appeal for us. We will never play financial Russian roulette with the funds you've entrusted to us, even if the metaphorical gun has 100 chambers and only one bullet. In our view, it is madness to risk losing what you *need* in pursuing what you simply *desire*.

- Despite our conservatism, I think we will be able *every* year to build the underlying per-share earning power of Berkshire. That does *not* mean operating earnings will increase each year – far from it. The U.S. economy will ebb and flow – though mostly flow – and, when it weakens, so will our current earnings. But we will continue to achieve organic gains, make bolt-on acquisitions and enter new fields. I believe, therefore, that Berkshire will annually add to its *underlying* earning power.

  In some years the gains will be substantial, and at other times they will be minor. Markets, competition, and chance will determine when opportunities come our way. Through it all, Berkshire will keep moving forward, powered by the array of solid businesses we now possess and the new companies we will purchase. In most years, moreover, our country's economy will provide a strong tailwind for business. We are blessed to have the United States as our home field.

- The bad news is that Berkshire's long-term gains – measured by percentages, not by dollars – cannot be dramatic and *will not come close* to those achieved in the past 50 years. The numbers have become too big. I think Berkshire will outperform the average American company, but our advantage, if any, won't be great.

  Eventually – probably between ten and twenty years from now – Berkshire's earnings and capital resources will reach a level that will not allow management to intelligently reinvest all of the company's earnings. At that time our directors will need to determine whether the best method to distribute the excess earnings is through dividends, share repurchases or both. If Berkshire shares are selling below intrinsic business value, massive repurchases will almost certainly be the best choice. You can be comfortable that your directors will make the right decision.

- No company will be more shareholder-minded than Berkshire. For more than 30 years, we have annually reaffirmed our Shareholder Principles (see page 117), always leading off with: "Although our form is corporate, our attitude is partnership." This covenant with you is etched in stone.

  We have an extraordinarily knowledgeable and business-oriented board of directors ready to carry out that promise of partnership. None took the job for the money: In an arrangement almost non-existent elsewhere, our directors are paid only token fees. They receive their rewards instead through ownership of Berkshire shares and the satisfaction that comes from being good stewards of an important enterprise.

  The shares that they and their families own – which, in many cases, are worth very substantial sums – were *purchased* in the market (rather than their materializing through options or grants). In addition, unlike almost all other sizable public companies, we carry no directors and officers liability insurance. At Berkshire, directors walk in your shoes.

  To further ensure continuation of our culture, I have suggested that my son, Howard, succeed me as a *non-executive* Chairman. My only reason for this wish is to make change easier if the wrong CEO should ever be employed and there occurs a need for the Chairman to move forcefully. I can assure you that this problem has a *very* low probability of arising at Berkshire – likely as low as at any public company. In my service on the boards of nineteen public companies, however, I've seen how hard it is to replace a mediocre CEO if that person is also Chairman. (The deed usually gets done, but almost always very late.)

  If elected, Howard will receive no pay and will spend no time at the job other than that required of all directors. He will simply be a safety valve to whom any director can go if he or she has concerns about the CEO and wishes to learn if other directors are expressing doubts as well. Should multiple directors be apprehensive, Howard's chairmanship will allow the matter to be promptly and properly addressed.

- Choosing the right CEO is all-important and is a subject that commands much time at Berkshire board meetings. Managing Berkshire is primarily a job of capital allocation, coupled with the selection and retention of outstanding managers to captain our operating subsidiaries. Obviously, the job also requires the replacement of a subsidiary's CEO when that is called for. These duties require Berkshire's CEO to be a rational, calm and decisive individual who has a broad understanding of business and good insights into human behavior. It's important as well that he knows his limits. (As Tom Watson, Sr. of IBM said, "I'm no genius, but I'm smart in spots and I stay around those spots.")

  Character is crucial: A Berkshire CEO must be "all in" for the company, not for himself. (I'm using male pronouns to avoid awkward wording, but gender should never decide who becomes CEO.) He can't help but earn money far in excess of any possible need for it. But it's important that neither ego nor avarice motivate him to reach for pay matching his most lavishly-compensated peers, even if his achievements far exceed theirs. A CEO's behavior has a huge impact on managers down the line: If it's clear to them that shareholders' interests are paramount to him, they will, with few exceptions, also embrace that way of thinking.

My successor will need one other particular strength: the ability to fight off the ABCs of business decay, which are arrogance, bureaucracy and complacency. When these corporate cancers metastasize, even the strongest of companies can falter. The examples available to prove the point are legion, but to maintain friendships I will exhume only cases from the distant past.

In their glory days, General Motors, IBM, Sears Roebuck and U.S. Steel sat atop huge industries. Their strengths seemed unassailable. But the destructive behavior I deplored above eventually led each of them to fall to depths that their CEOs and directors had not long before thought impossible. Their one-time financial strength and their historical earning power proved no defense.

Only a vigilant and determined CEO can ward off such debilitating forces as Berkshire grows ever larger. He must never forget Charlie's plea: "Tell me where I'm going to die, so I'll never go there." If our non-economic values were to be lost, much of Berkshire's economic value would collapse as well. "Tone at the top" will be key to maintaining Berkshire's special culture.

Fortunately, the structure our future CEOs will need to be successful is firmly in place. The extraordinary delegation of authority now existing at Berkshire is the ideal antidote to bureaucracy. In an operating sense, Berkshire is not a giant company but rather a collection of large companies. At headquarters, we have never had a committee nor have we ever required our subsidiaries to submit budgets (though many use them as an important internal tool). We don't have a legal office nor departments that other companies take for granted: human relations, public relations, investor relations, strategy, acquisitions, you name it.

We do, of course, have an active audit function; no sense being a damned fool. To an unusual degree, however, we trust our managers to run their operations with a keen sense of stewardship. After all, they were doing exactly that before we acquired their businesses. With only occasional exceptions, furthermore, our trust produces better results than would be achieved by streams of directives, endless reviews and layers of bureaucracy. Charlie and I try to interact with our managers in a manner consistent with what we would wish for, if the positions were reversed.

- Our directors believe that our future CEOs should come from internal candidates whom the Berkshire board has grown to know well. Our directors also believe that an incoming CEO should be relatively young, so that he or she can have a long run in the job. Berkshire will operate best if its CEOs average well over ten years at the helm. (It's hard to teach a new dog old tricks.) And they are not likely to retire at 65 either (or have you noticed?).

  In both Berkshire's business acquisitions and large, tailored investment moves, it is important that our counterparties be both familiar with and feel comfortable with Berkshire's CEO. Developing confidence of that sort and cementing relationships takes time. The payoff, though, can be huge.

  Both the board and I believe we now have the right person to succeed me as CEO – a successor ready to assume the job the day after I die or step down. In certain important respects, this person will do a better job than I am doing.

- Investments will always be of great importance to Berkshire and will be handled by several specialists. They will report to the CEO because their investment decisions, in a broad way, will need to be coordinated with Berkshire's operating and acquisition programs. Overall, though, our investment managers will enjoy great autonomy. In this area, too, we are in fine shape for decades to come. Todd Combs and Ted Weschler, each of whom has spent several years on Berkshire's investment team, are first-rate in all respects and can be of particular help to the CEO in evaluating acquisitions.

  All told, Berkshire is ideally positioned for life after Charlie and I leave the scene. We have the right people in place – the right directors, managers and prospective successors to those managers. Our culture, furthermore, is embedded throughout their ranks. Our system is also regenerative. To a large degree, both good and bad cultures self-select to perpetuate themselves. For very good reasons, business owners and operating managers with values similar to ours will continue to be attracted to Berkshire as a one-of-a-kind and *permanent* home.

- I would be remiss if I didn't salute another key constituency that makes Berkshire special: our shareholders. Berkshire truly has an owner base unlike that of any other giant corporation. That fact was demonstrated in spades at last year's annual meeting, where the shareholders were offered a proxy resolution:

  > RESOLVED: Whereas the corporation has more money than it needs and since the owners unlike Warren are not multi billionaires, the board shall consider paying a meaningful annual dividend on the shares.

  The sponsoring shareholder of that resolution never showed up at the meeting, so his motion was not officially proposed. Nevertheless, the proxy votes had been tallied, and they were enlightening.

  Not surprisingly, the A shares – owned by relatively few shareholders, each with a large economic interest – voted "no" on the dividend question by a margin of 89 to 1.

  The remarkable vote was that of our B shareholders. They number in the hundreds of thousands – perhaps even totaling one million – and they voted 660,759,855 "no" and 13,927,026 "yes," a ratio of about 47 to 1.

  Our directors recommended a "no" vote but the company did not otherwise attempt to influence shareholders. Nevertheless, 98% of the shares voting said, in effect, "Don't send us a dividend but instead reinvest all of the earnings." To have our fellow owners – large and small – be so in sync with our managerial philosophy is both remarkable and rewarding.

  I am a lucky fellow to have you as partners.

  Warren E. Buffett

Vice Chairman's Thoughts – Past and Future

To the shareholders of Berkshire Hathaway Inc.:

I closely watched the 50-year history of Berkshire's uncommon success under Warren Buffett. And it now seems appropriate that I independently supplement whatever celebratory comment comes from him. I will try to do five things.

(1) Describe the management system and policies that caused a small and unfixably-doomed commodity textile business to morph into the mighty Berkshire that now exists,

(2) Explain how the management system and policies came into being,

(3) Explain, to some extent, why Berkshire did so well,

(4) Predict whether abnormally good results would continue if Buffett were soon to depart, and

(5) Consider whether Berkshire's great results over the last 50 years have implications that may prove useful elsewhere.

The management system and policies of Berkshire under Buffett (herein together called "the Berkshire system") were fixed early and are described below:

(1) Berkshire would be a diffuse conglomerate, averse only to activities about which it could not make useful predictions.
(2) Its top company would do almost all business through separately incorporated subsidiaries whose CEOs would operate with very extreme autonomy.
(3) There would be almost nothing at conglomerate headquarters except a tiny office suite containing a Chairman, a CFO, and a few assistants who mostly helped the CFO with auditing, internal control, etc.
(4) Berkshire subsidiaries would always prominently include casualty insurers. Those insurers as a group would be expected to produce, in due course, dependable underwriting gains while also producing substantial "float" (from unpaid insurance liabilities) for investment.
(5) There would be no significant system-wide personnel system, stock option system, other incentive system, retirement system, or the like, because the subsidiaries would have their own systems, often different.
(6) Berkshire's Chairman would reserve only a few activities for himself.

    (i) He would manage almost all security investments, with these normally residing in Berkshire's casualty insurers.

    (ii) He would choose all CEOs of important subsidiaries, and he would fix their compensation and obtain from each a private recommendation for a successor in case one was suddenly needed.

    (iii) He would deploy most cash not needed in subsidiaries after they had increased their competitive advantage, with the ideal deployment being the use of that cash to acquire new subsidiaries.

    (iv) He would make himself promptly available for almost any contact wanted by any subsidiary's CEO, and he would require almost no additional contact.

    (v) He would write a long, logical, and useful letter for inclusion in his annual report, designed as he would wish it to be if he were only a passive shareholder, and he would be available for hours of answering questions at annual shareholders' meetings.

    (vi) He would try to be an exemplar in a culture that would work well for customers, shareholders, and other incumbents for a long time, both before and after his departure.

    (vii) His first priority would be reservation of much time for quiet reading and thinking, particularly that which might advance his determined learning, no matter how old he became; and

(viii) He would also spend much time in enthusiastically admiring what others were accomplishing.

(7) New subsidiaries would usually be bought with cash, not newly issued stock.

(8) Berkshire would not pay dividends so long as more than one dollar of market value for shareholders was being created by each dollar of retained earnings.

(9) In buying a new subsidiary, Berkshire would seek to pay a fair price for a good business that the Chairman could pretty well understand. Berkshire would also want a good CEO in place, one expected to remain for a long time and to manage well without need for help from headquarters.

(10) In choosing CEOs of subsidiaries, Berkshire would try to secure trustworthiness, skill, energy, and love for the business and circumstances the CEO was in.

(11) As an important matter of preferred conduct, Berkshire would almost never sell a subsidiary.

(12) Berkshire would almost never transfer a subsidiary's CEO to another unrelated subsidiary.

(13) Berkshire would never force the CEO of a subsidiary to retire on account of mere age.

(14) Berkshire would have little debt outstanding as it tried to maintain (i) virtually perfect creditworthiness under all conditions and (ii) easy availability of cash and credit for deployment in times presenting unusual opportunities.

(15) Berkshire would always be user-friendly to a prospective seller of a large business. An offer of such a business would get prompt attention. No one but the Chairman and one or two others at Berkshire would ever know about the offer if it did not lead to a transaction. And they would never tell outsiders about it.

Both the elements of the Berkshire system and their collected size are quite unusual. No other large corporation I know of has half of such elements in place.

How did Berkshire happen to get a corporate personality so different from the norm?

Well, Buffett, even when only 34 years old, controlled about 45% of Berkshire's shares and was completely trusted by all the other big shareholders. He could install whatever system he wanted. And he did so, creating the Berkshire system.

Almost every element was chosen because Buffett believed that, under him, it would help maximize Berkshire's achievement. He was not trying to create a one-type-fits-all system for other corporations. Indeed, Berkshire's subsidiaries were not required to use the Berkshire system in their own operations. And some flourished while using different systems.

What was Buffett aiming at as he designed the Berkshire system?

Well, over the years I diagnosed several important themes:

(1) He particularly wanted continuous maximization of the rationality, skills, and devotion of the most important people in the system, starting with himself.
(2) He wanted win/win results everywhere--in gaining loyalty by giving it, for instance.
(3) He wanted decisions that maximized long-term results, seeking these from decision makers who usually stayed long enough in place to bear the consequences of decisions.
(4) He wanted to minimize the bad effects that would almost inevitably come from a large bureaucracy at headquarters.
(5) He wanted to personally contribute, like Professor Ben Graham, to the spread of wisdom attained.

When Buffett developed the Berkshire system, did he foresee all the benefits that followed? No. Buffett stumbled into some benefits through practice evolution. But, when he saw useful consequences, he strengthened their causes.

Why did Berkshire under Buffett do so well?

Only four large factors occur to me:

(1) The constructive peculiarities of Buffett,
(2) The constructive peculiarities of the Berkshire system,
(3) Good luck, and
(4) The weirdly intense, contagious devotion of some shareholders and other admirers, including some in the press.

I believe all four factors were present and helpful. But the heavy freight was carried by the constructive peculiarities, the weird devotion, and their interactions.

In particular, Buffett's decision to limit his activities to a few kinds and to maximize his attention to them, and to keep doing so for 50 years, was a lollapalooza. Buffett succeeded for the same reason Roger Federer became good at tennis.

Buffett was, in effect, using the winning method of the famous basketball coach, John Wooden, who won most regularly after he had learned to assign virtually all playing time to his seven best players. That way, opponents always faced his best players, instead of his second best. And, with the extra playing time, the best players improved more than was normal.

And Buffett much out-Woodened Wooden, because in his case the exercise of skill was concentrated in one person, not seven, and his skill improved and improved as he got older and older during 50 years, instead of deteriorating like the skill of a basketball player does.

Moreover, by concentrating so much power and authority in the often-long-serving CEOs of important subsidiaries, Buffett was also creating strong Wooden-type effects there. And such effects enhanced the skills of the CEOs and the achievements of the subsidiaries.

Then, as the Berkshire system bestowed much-desired autonomy on many subsidiaries and their CEOs, and Berkshire became successful and well known, these outcomes attracted both more and better subsidiaries into Berkshire, and better CEOs as well.

And the better subsidiaries and CEOs then required less attention from headquarters, creating what is often called a "virtuous circle."

How well did it work out for Berkshire to always include casualty insurers as important subsidiaries?

Marvelously well. Berkshire's ambitions were unreasonably extreme and, even so, it got what it wanted.

Casualty insurers often invest in common stocks with a value amounting roughly to their shareholders' equity, as did Berkshire's insurance subsidiaries. And the S&P 500 Index produced about 10% per annum, pre-tax, during the last 50 years, creating a significant tailwind.

And, in the early decades of the Buffett era, common stocks within Berkshire's insurance subsidiaries greatly outperformed the index, exactly as Buffett expected. And, later, when both the large size of Berkshire's stockholdings and income tax considerations caused the index-beating part of returns to fade to insignificance (perhaps not forever), other and better advantage came. Ajit Jain created out of nothing an immense reinsurance business that produced both a huge "float" and a large underwriting gain. And all of GEICO came into Berkshire, followed by a quadrupling of GEICO's market share. And the rest of Berkshire's insurance operations hugely improved, largely by dint of reputational advantage, underwriting discipline, finding and staying within good niches, and recruiting and holding outstanding people.

Then, later, as Berkshire's nearly unique and quite dependable corporate personality and large size became well known, its insurance subsidiaries got and seized many attractive opportunities, not available to others, to buy privately issued securities. Most of these securities had fixed maturities and produced outstanding results.

Berkshire's marvelous outcome in insurance was not a natural result. Ordinarily, a casualty insurance business is a producer of mediocre results, even when very well managed. And such results are of little use. Berkshire's better outcome was so astoundingly large that I believe that Buffett would now fail to recreate it if he returned to a small base while retaining his smarts and regaining his youth.

Did Berkshire suffer from being a diffuse conglomerate? No, its opportunities were usefully enlarged by a widened area for operation. And bad effects, common elsewhere, were prevented by Buffett's skills.

Why did Berkshire prefer to buy companies with cash, instead of its own stock? Well, it was hard to get anything in exchange for Berkshire stock that was as valuable as what was given up.

Why did Berkshire's acquisition of companies outside the insurance business work out so well for Berkshire shareholders when the normal result in such acquisitions is bad for shareholders of the acquirer?

Well, Berkshire, by design, had methodological advantages to supplement its better opportunities. It never had the equivalent of a "department of acquisitions" under pressure to buy. And it never relied on advice from "helpers" sure to be prejudiced in favor of transactions. And Buffett held self-delusion at bay as he underclaimed expertise while he knew better than most corporate executives what worked and what didn't in business, aided by his long experience as a passive investor. And, finally, even when Berkshire was getting much better opportunities than most others, Buffett often displayed almost inhuman patience and seldom bought. For instance, during his first ten years in control of Berkshire, Buffett saw one business (textiles) move close to death and two new businesses come in, for a net gain of one.

What were the big mistakes made by Berkshire under Buffett? Well, while mistakes of commission were common, almost all huge errors were in not making a purchase, including not purchasing Walmart stock when that was sure to work out enormously well. The errors of omission were of much importance. Berkshire's net worth would now be at least $50 billion higher if it had seized several opportunities it was not quite smart enough to recognize as virtually sure things.

The next to last task on my list was: Predict whether abnormally good results would continue at Berkshire if Buffett were soon to depart.

The answer is yes. Berkshire has in place in its subsidiaries much business momentum grounded in much durable competitive advantage.

Moreover, its railroad and utility subsidiaries now provide much desirable opportunity to invest large sums in new fixed assets. And many subsidiaries are now engaged in making wise "bolt-on" acquisitions.

Provided that most of the Berkshire system remains in place, the combined momentum and opportunity now present is so great that Berkshire would almost surely remain a better-than-normal company for a very long time even if (1) Buffett left tomorrow, (2) his successors were persons of only moderate ability, and (3) Berkshire never again purchased a large business.

But, under this Buffett-soon-leaves assumption, his successors would not be "of only moderate ability." For instance, Ajit Jain and Greg Abel are proven performers who would probably be under-described as "world-class." "World-leading" would be the description I would choose. In some important ways, each is a better business executive than Buffett.

And I believe neither Jain nor Abel would (1) leave Berkshire, no matter what someone else offered or (2) desire much change in the Berkshire system.

Nor do I think that desirable purchases of new businesses would end with Buffett's departure. With Berkshire now so large and the age of activism upon us, I think some desirable acquisition opportunities will come and that Berkshire's $60 billion in cash will constructively decrease.

My final task was to consider whether Berkshire's great results over the last 50 years have implications that may prove useful elsewhere.

The answer is plainly yes. In its early Buffett years, Berkshire had a big task ahead: turning a tiny stash into a large and useful company. And it solved that problem by avoiding bureaucracy and relying much on one thoughtful leader for a long, long time as he kept improving and brought in more people like himself.

Compare this to a typical big-corporation system with much bureaucracy at headquarters and a long succession of CEOs who come in at about age 59, pause little thereafter for quiet thought, and are soon forced out by a fixed retirement age.

I believe that versions of the Berkshire system should be tried more often elsewhere and that the worst attributes of bureaucracy should much more often be treated like the cancers they so much resemble. A good example of bureaucracy fixing was created by George Marshall when he helped win World War II by getting from Congress the right to ignore seniority in choosing generals.

Sincerely,

Charles T. Munger

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire	in Per-Share Market Value of Berkshire	in S&P 500 with Dividends Included
1965	23.8	49.5	10.0
1966	20.3	(3.4)	(11.7)
1967	11.0	13.3	30.9
1968	19.0	77.8	11.0
1969	16.2	19.4	(8.4)
1970	12.0	(4.6)	3.9
1971	16.4	80.5	14.6
1972	21.7	8.1	18.9
1973	4.7	(2.5)	(14.8)
1974	5.5	(48.7)	(26.4)
1975	21.9	2.5	37.2
1976	59.3	129.3	23.6
1977	31.9	46.8	(7.4)
1978	24.0	14.5	6.4
1979	35.7	102.5	18.2
1980	19.3	32.8	32.3
1981	31.4	31.8	(5.0)
1982	40.0	38.4	21.4
1983	32.3	69.0	22.4
1984	13.6	(2.7)	6.1
1985	48.2	93.7	31.6
1986	26.1	14.2	18.6
1987	19.5	4.6	5.1
1988	20.1	59.3	16.6
1989	44.4	84.6	31.7
1990	7.4	(23.1)	(3.1)
1991	39.6	35.6	30.5
1992	20.3	29.8	7.6
1993	14.3	38.9	10.1
1994	13.9	25.0	1.3
1995	43.1	57.4	37.6
1996	31.8	6.2	23.0
1997	34.1	34.9	33.4
1998	48.3	52.2	28.6
1999	0.5	(19.9)	21.0
2000	6.5	26.6	(9.1)
2001	(6.2)	6.5	(11.9)
2002	10.0	(3.8)	(22.1)
2003	21.0	15.8	28.7
2004	10.5	4.3	10.9
2005	6.4	0.8	4.9
2006	18.4	24.1	15.8
2007	11.0	28.7	5.5
2008	(9.6)	(31.8)	(37.0)
2009	19.8	2.7	26.5
2010	13.0	21.4	15.1
2011	4.6	(4.7)	2.1
2012	14.4	16.8	16.0
2013	18.2	32.7	32.4
2014	8.3	27.0	13.7
2015	6.4	(12.5)	1.4
Compounded Annual Gain – 1965-2015	19.2%	20.8%	9.7%
Overall Gain – 1964-2015	798,981%	1,598,284%	11,355%

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31. Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported. The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Berkshire's gain in net worth during 2015 was $15.4 billion, which increased the per-share book value of both our Class A and Class B stock by 6.4%. Over the last 51 years (that is, since present management took over), per-share book value has grown from $19 to $155,501, a rate of 19.2% compounded annually.*

During the first half of those years, Berkshire's net worth was roughly equal to the number that really counts: the intrinsic value of the business. The similarity of the two figures existed then because most of our resources were deployed in marketable securities that were regularly revalued to their quoted prices (less the tax that would be incurred if they were to be sold). In Wall Street parlance, our balance sheet was then in very large part "marked to market."

By the early 1990s, however, our focus had changed to the outright ownership of businesses, a shift that diminished the relevance of balance-sheet figures. That disconnect occurred because the accounting rules that apply to controlled companies are materially different from those used in valuing marketable securities. The carrying value of the "losers" we own is written down, but "winners" are *never* revalued upwards.

We've had experience with both outcomes: I've made some dumb purchases, and the amount I paid for the economic goodwill of those companies was later written off, a move that reduced Berkshire's book value. We've also had some winners – a few of them very big – but have not written those up by a penny.

Over time, this asymmetrical accounting treatment (with which we agree) necessarily widens the gap between intrinsic value and book value. Today, the large – and growing – unrecorded gains at our "winners" make it clear that Berkshire's intrinsic value *far* exceeds its book value. That's why we would be delighted to repurchase our shares should they sell as low as 120% of book value. At that level, purchases would instantly and meaningfully increase per-share intrinsic value for Berkshire's continuing shareholders.

The unrecorded increase in the value of our owned businesses explains why Berkshire's aggregate market-value gain – tabulated on the facing page – materially exceeds our book-value gain. The two indicators vary erratically over short periods. Last year, for example, book-value performance was superior. Over time, however, market-value gains should continue their historical tendency to exceed gains in book value.

* All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/1500th of those shown for A.

The Year at Berkshire

Charlie Munger, Berkshire Vice Chairman and my partner, and I expect Berkshire's *normalized* earning power to increase every year. (*Actual* year-to-year earnings, of course, will sometimes decline because of weakness in the U.S. economy or, possibly, because of insurance mega-catastrophes.) In some years the normalized gains will be small; at other times they will be material. Last year was a good one. Here are the highlights:

- The most important development at Berkshire during 2015 was not financial, though it led to better earnings. After a poor performance in 2014, our BNSF railroad dramatically improved its service to customers last year. To attain that result, we invested about $5.8 billion during the year in capital expenditures, a sum far and away the record for any American railroad and nearly three times our annual depreciation charge. It was money well spent.

  BNSF moves about 17% of America's intercity freight (measured by revenue ton-miles), whether transported by rail, truck, air, water or pipeline. In that respect, we are a strong number one among the seven large American railroads (two of which are Canadian-based), carrying 45% more ton-miles of freight than our closest competitor. Consequently, our maintaining first-class service is not only vital to our shippers' welfare but also important to the smooth functioning of the U.S. economy.

  For most American railroads, 2015 was a disappointing year. Aggregate ton-miles fell, and earnings weakened as well. BNSF, however, maintained volume, and pre-tax income rose to a record $6.8 billion* (a gain of $606 million from 2014). Matt Rose and Carl Ice, the managers of BNSF, have my thanks and deserve yours.

- BNSF is the largest of our "Powerhouse Five," a group that also includes Berkshire Hathaway Energy, Marmon, Lubrizol and IMC. Combined, these companies – our five most profitable non-insurance businesses – earned $13.1 billion in 2015, an increase of $650 million over 2014.

  Of the five, only Berkshire Hathaway Energy, then earning $393 million, was owned by us in 2003. Subsequently, we purchased three of the other four on an all-cash basis. In acquiring BNSF, however, we paid about 70% of the cost in cash and, for the remainder, issued Berkshire shares that increased the number outstanding by 6.1%. In other words, the $12.7 billion gain in annual earnings delivered Berkshire by the five companies over the twelve-year span has been accompanied by only minor dilution. That satisfies our goal of not simply increasing earnings, but making sure we also increase *per-share* results.

- Next year, I will be discussing the "Powerhouse Six." The newcomer will be Precision Castparts Corp. ("PCC"), a business that we purchased a month ago for more than $32 billion of cash. PCC fits perfectly into the Berkshire model and will substantially increase our *normalized* per-share earning power.

  Under CEO Mark Donegan, PCC has become the world's premier supplier of aerospace components (most of them destined to be original equipment, though spares are important to the company as well). Mark's accomplishments remind me of the magic regularly performed by Jacob Harpaz at IMC, our remarkable Israeli manufacturer of cutting tools. The two men transform very ordinary raw materials into extraordinary products that are used by major manufacturers worldwide. Each is the da Vinci of his craft.

  PCC's products, often delivered under multi-year contracts, are key components in most large aircraft. Other industries are served as well by the company's 30,466 employees, who work out of 162 plants in 13 countries. In building his business, Mark has made many acquisitions and will make more. We look forward to having him deploy Berkshire's capital.

* Throughout this letter, all earnings are stated on a pre-tax basis unless otherwise designated.

A personal thank-you: The PCC acquisition would not have happened without the input and assistance of our own Todd Combs, who brought the company to my attention a few years ago and went on to educate me about both the business and Mark. Though Todd and Ted Weschler are primarily investment managers – they each handle about $9 billion for us – both of them cheerfully and ably add major value to Berkshire in other ways as well. Hiring these two was one of my best moves.

- With the PCC acquisition, Berkshire will own 10¼ companies that would populate the Fortune 500 if they were stand-alone businesses. (Our 27% holding of Kraft Heinz is the ¼.) That leaves just under 98% of America's business giants that have yet to call us. Operators are standing by.

- Our many dozens of smaller non-insurance businesses earned $5.7 billion last year, up from $5.1 billion in 2014. Within this group, we have one company that last year earned more than $700 million, two that earned between $400 million and $700 million, seven that earned between $250 million and $400 million, six that earned between $100 million and $250 million, and eleven that earned between $50 million and $100 million. We love them all: This collection of businesses will expand both in number and earnings as the years go by.

- When you hear talk about America's crumbling infrastructure, rest assured that they're not talking about Berkshire. We invested $16 billion in property, plant and equipment last year, a full 86% of it deployed in the United States.

  I told you earlier about BNSF's record capital expenditures in 2015. At the end of *every* year, our railroad's physical facilities will be improved from those existing twelve months earlier.

  Berkshire Hathaway Energy ("BHE") is a similar story. That company has invested $16 billion in renewables and now owns 7% of the country's wind generation and 6% of its solar generation. Indeed, the 4,423 megawatts of wind generation owned and operated by our regulated utilities is *six* times the generation of the runner-up utility.

  We're not done. Last year, BHE made major commitments to the future development of renewables in support of the Paris Climate Change Conference. Our fulfilling those promises will make great sense, both for the environment and for Berkshire's economics.

- Berkshire's huge and growing insurance operation again operated at an underwriting profit in 2015 – that makes 13 years in a row – and increased its float. During those years, our float – money that doesn't belong to us but that we can invest for Berkshire's benefit – grew from $41 billion to $88 billion. Though neither that gain nor the size of our float is reflected in Berkshire's earnings, float generates significant investment income because of the assets it allows us to hold.

  Meanwhile, our underwriting profit totaled $26 billion during the 13-year period, including $1.8 billion earned in 2015. Without a doubt, Berkshire's largest unrecorded wealth lies in its insurance business. We've spent 48 years building this multi-faceted operation, and it can't be replicated.

- While Charlie and I search for new businesses to buy, our many subsidiaries are regularly making bolt-on acquisitions. Last year we contracted for 29 bolt-ons, scheduled to cost $634 million in aggregate. The cost of these purchases ranged from $300,000 to $143 million.

  Charlie and I encourage bolt-ons, *if* they are sensibly-priced. (Most deals offered us most definitely aren't.) These purchases deploy capital in operations that fit with our existing businesses and that will be managed by our corps of expert managers. That means no additional work for us, yet more earnings for Berkshire, a combination we find highly appealing. We will make many dozens of bolt-on deals in future years.

- Our Heinz partnership with Jorge Paulo Lemann, Alex Behring and Bernardo Hees more than doubled its size last year by merging with Kraft. Before this transaction, we owned about 53% of Heinz at a cost of $4.25 billion. Now we own 325.4 million shares of Kraft Heinz (about 27%) that cost us $9.8 billion. The new company has annual sales of $27 billion and can supply you Heinz ketchup or mustard to go with your Oscar Mayer hot dogs that come from the Kraft side. Add a Coke, and you will be enjoying my favorite meal. (We will have the Oscar Mayer Wienermobile at the annual meeting – bring your kids.)

  Though we sold no Kraft Heinz shares, "GAAP" (Generally Accepted Accounting Principles) required us to record a $6.8 billion write-up of our investment upon completion of the merger. That leaves us with our Kraft Heinz holding carried on our balance sheet at a value many billions above our cost and many billions below its market value, an outcome only an accountant could love.

  Berkshire also owns Kraft Heinz preferred shares that pay us $720 million annually and are carried at $7.7 billion on our balance sheet. That holding will almost certainly be redeemed for $8.32 billion in June (the earliest date allowed under the preferred's terms). That will be good news for Kraft Heinz and bad news for Berkshire.

  Jorge Paulo and his associates could not be better partners. We share with them a passion to buy, build and *hold* large businesses that satisfy basic needs and desires. We follow different paths, however, in pursuing this goal.

  Their method, at which they have been extraordinarily successful, is to buy companies that offer an opportunity for eliminating many unnecessary costs and then – *very promptly* – to make the moves that will get the job done. Their actions significantly boost productivity, the all-important factor in America's economic growth over the past 240 years. Without more output of desired goods and services per working hour – that's the measure of productivity gains – an economy inevitably stagnates. At much of corporate America, truly major gains in productivity are possible, a fact offering opportunities to Jorge Paulo and his associates.

  At Berkshire, we, too, crave efficiency and detest bureaucracy. To achieve our goals, however, we follow an approach emphasizing *avoidance* of bloat, buying businesses such as PCC that have long been run by cost-conscious and efficient managers. After the purchase, *our* role is simply to create an environment in which these CEOs – and their eventual successors, who typically are like-minded – can maximize both their managerial effectiveness and the pleasure they derive from their jobs. (With this hands-off style, I am heeding a well-known Mungerism: "If you want to guarantee yourself a lifetime of misery, be sure to marry someone with the intent of changing their behavior.")

  We will continue to operate with extreme – indeed, almost unheard of – decentralization at Berkshire. But we will also look for opportunities to partner with Jorge Paulo, either as a financing partner, as was the case when his group purchased Tim Horton's, or as a combined equity-and-financing partner, as at Heinz. We also may occasionally partner with others, as we have successfully done at Berkadia.

  Berkshire, however, will join only with partners making friendly acquisitions. To be sure, certain hostile offers are justified: Some CEOs forget that it is shareholders for whom they should be working, while other managers are woefully inept. In either case, directors may be blind to the problem or simply reluctant to make the change required. That's when new faces are needed. We, though, will leave these "opportunities" for others. At Berkshire, we go only where we are welcome.

- Berkshire increased its ownership interest last year in each of its "Big Four" investments – American Express, Coca-Cola, IBM and Wells Fargo. We purchased additional shares of IBM (increasing our ownership to 8.4% versus 7.8% at yearend 2014) and Wells Fargo (going to 9.8% from 9.4%). At the other two companies, Coca-Cola and American Express, stock repurchases raised our percentage ownership. Our equity in Coca-Cola grew from 9.2% to 9.3%, and our interest in American Express increased from 14.8% to 15.6%. In case you think these seemingly small changes aren't important, consider this math: For the four companies in aggregate, each increase of one percentage point in our ownership raises Berkshire's portion of their annual earnings by about $500 million.

  These four investees possess excellent businesses and are run by managers who are both talented and shareholder-oriented. Their returns on tangible equity range from excellent to staggering. At Berkshire, we much prefer owning a non-controlling but substantial portion of a wonderful company to owning 100% of a so-so business. It's better to have a partial interest in the Hope Diamond than to own all of a rhinestone.

  If Berkshire's yearend holdings are used as the marker, our portion of the "Big Four's" 2015 earnings amounted to $4.7 billion. In the earnings we report to you, however, we include only the dividends they pay us – about $1.8 billion last year. But make no mistake: The nearly $3 billion of these companies' earnings we don't report are every bit as valuable to us as the portion Berkshire records.

  The earnings our investees retain are often used for repurchases of their own stock – a move that increases Berkshire's share of future earnings without requiring us to lay out a dime. The retained earnings of these companies also fund business opportunities that usually turn out to be advantageous. All that leads us to expect that the per-share earnings of these four investees, in aggregate, will grow substantially over time. If gains do indeed materialize, dividends to Berkshire will increase and so, too, will our unrealized capital gains.

  Our flexibility in capital allocation – our willingness to invest large sums passively in non-controlled businesses – gives us a significant edge over companies that limit themselves to acquisitions they will operate. Woody Allen once explained that the advantage of being bi-sexual is that it doubles your chance of finding a date on Saturday night. In like manner – well, not exactly like manner – our appetite for either operating businesses or passive investments doubles *our* chances of finding sensible uses for Berkshire's endless gusher of cash. Beyond that, having a huge portfolio of marketable securities gives us a stockpile of funds that can be tapped when an elephant-sized acquisition is offered to us.

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It's an election year, and candidates can't stop speaking about our country's problems (which, of course, only *they* can solve). As a result of this negative drumbeat, many Americans now believe that their children will not live as well as they themselves do.

That view is dead wrong: The babies being born in America today are the luckiest crop in history.

American GDP per capita is now about $56,000. As I mentioned last year that – *in real terms* – is a staggering six times the amount in 1930, the year I was born, a leap far beyond the wildest dreams of my parents or their contemporaries. U.S. citizens are not intrinsically more intelligent today, nor do they work harder than did Americans in 1930. Rather, they work far more efficiently and thereby produce far more. This all-powerful trend is certain to continue: America's economic magic remains alive and well.

Some commentators bemoan our current 2% per year growth in real GDP – and, yes, we would all like to see a higher rate. But let's do some simple math using the much-lamented 2% figure. That rate, we will see, delivers astounding gains.

America's population is growing about .8% per year (.5% from births minus deaths and .3% from net migration). Thus 2% of *overall* growth produces about 1.2% of *per capita* growth. That may not sound impressive. But in a single generation of, say, 25 years, that rate of growth leads to a gain of 34.4% in *real* GDP per capita. (Compounding's effects produce the excess over the percentage that would result by simply multiplying 25 x 1.2%.) In turn, that 34.4% gain will produce a staggering $19,000 increase in *real GDP per capita* for the next generation. Were that to be distributed equally, the gain would be $76,000 annually for a family of four. Today's politicians need not shed tears for tomorrow's children.

Indeed, most of *today's* children are doing well. *All* families in my upper middle-class neighborhood regularly enjoy a living standard better than that achieved by John D. Rockefeller Sr. at the time of my birth. His unparalleled fortune couldn't buy what we now take for granted, whether the field is – to name just a few – transportation, entertainment, communication or medical services. Rockefeller certainly had power and fame; he could not, however, live as well as my neighbors now do.

Though the pie to be shared by the next generation will be *far* larger than today's, how it will be divided will remain fiercely contentious. Just as is now the case, there will be struggles for the increased output of goods and services between those people in their productive years and retirees, between the healthy and the infirm, between the inheritors and the Horatio Algers, between investors and workers and, in particular, between those with talents that are valued highly by the marketplace and the equally decent hard-working Americans who lack the skills the market prizes. Clashes of that sort have forever been with us – and will forever continue. Congress will be the battlefield; money and votes will be the weapons. Lobbying will remain a growth industry.

The good news, however, is that even members of the "losing" sides will almost certainly enjoy – *as they should* – far more goods and services in the future than they have in the past. The quality of their increased bounty will also dramatically improve. Nothing rivals the market system in producing what people want – nor, even more so, in delivering what people don't yet know they want. My parents, when young, could not envision a television set, nor did I, in my 50s, think I needed a personal computer. Both products, once people saw what they could do, quickly revolutionized their lives. I now spend ten hours a week playing bridge online. And, as I write this letter, "search" is invaluable to me. (I'm not ready for Tinder, however.)

For 240 years it's been a terrible mistake to bet against America, and now is no time to start. America's golden goose of commerce and innovation will continue to lay more and larger eggs. America's social security promises will be honored and perhaps made more generous. And, yes, America's kids will live far better than their parents did.

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Considering this favorable tailwind, Berkshire (and, to be sure, a great many other businesses) will almost certainly prosper. The managers who succeed Charlie and me will build Berkshire's per-share intrinsic value by following our simple blueprint of: (1) constantly improving the basic earning power of our many subsidiaries; (2) further increasing their earnings through bolt-on acquisitions; (3) benefiting from the growth of our investees; (4) repurchasing Berkshire shares when they are available at a meaningful discount from intrinsic value; and (5) making an occasional large acquisition. Management will also try to maximize results for *you* by rarely, if ever, issuing Berkshire shares.

Intrinsic Business Value

As much as Charlie and I talk about intrinsic business value, we cannot tell you precisely what that number is for Berkshire shares (nor, in fact, for any other stock). It is possible, however, to make a sensible estimate. In our 2010 annual report we laid out the three elements – one of them qualitative – that we believe are the keys to an estimation of Berkshire's intrinsic value. That discussion is reproduced in full on pages 113-114.

Here is an update of the two quantitative factors: In 2015 our per-share cash and investments increased 8.3% to $159,794 (with our Kraft Heinz shares stated at market value), and earnings from our many businesses – *including insurance underwriting income* – increased 2.1% to $12,304 per share. We exclude in the second factor the dividends and interest from the investments we hold because including them would produce a double-counting of value. In arriving at our earnings figure, we deduct all corporate overhead, interest, depreciation, amortization and minority interests. Income taxes, though, are not deducted. That is, the earnings are pre-tax.

I used the italics in the paragraph above because we are for the first time including insurance underwriting income in business earnings. We did not do that when we initially introduced Berkshire's two quantitative pillars of valuation because our insurance results were then heavily influenced by catastrophe coverages. If the wind didn't blow and the earth didn't shake, we made large profits. But a mega-catastrophe would produce red ink. In order to be conservative then in stating our business earnings, we consistently assumed that underwriting would break even over time and ignored any of its gains or losses in our annual calculation of the second factor of value.

Today, our insurance results are likely to be more stable than was the case a decade or two ago because we have deemphasized catastrophe coverages and greatly expanded our bread-and-butter lines of business. Last year, our underwriting income contributed $1,118 per share to the $12,304 per share of earnings referenced in the second paragraph of this section. Over the past decade, annual underwriting income has averaged $1,434 per share, and we anticipate being profitable in most years. You should recognize, however, that underwriting in any given year could well be unprofitable, perhaps substantially so.

Since 1970, our per-share investments have increased at a rate of 18.9% compounded annually, and our earnings (*including* the underwriting results in both the initial and terminal year) have grown at a 23.7% clip. It is no coincidence that the price of Berkshire stock over the ensuing 45 years has increased at a rate very similar to that of our two measures of value. Charlie and I like to see gains in both sectors, but our main goal is to build operating earnings.

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Now, let's examine the four major sectors of our operations. Each has vastly different balance sheet and income characteristics from the others. So we'll present them as four separate businesses, which is how Charlie and I view them (though there are important and *enduring* economic advantages to having them all under one roof). Our intent is to provide you with the information we would wish to have if our positions were reversed, with you being the reporting manager and we the absentee shareholders. (Don't get excited; this is not a switch we are considering.)

Insurance

Let's look first at insurance. The property-casualty ("P/C") branch of that industry has been the engine that has propelled our expansion since 1967, when we acquired National Indemnity and its sister company, National Fire & Marine, for $8.6 million. Today, National Indemnity is the largest property-casualty company in the world, as measured by net worth. Moreover, its intrinsic value is *far* in excess of the value at which it is carried on our books.

One reason we were attracted to the P/C business was its financial characteristics: P/C insurers receive premiums upfront and pay claims later. In extreme cases, such as those arising from certain workers' compensation accidents, payments can stretch over many decades. This collect-now, pay-later model leaves P/C companies holding large sums – money we call "float" – that will eventually go to others. Meanwhile, insurers get to invest this float for their own benefit. Though individual policies and claims come and go, the amount of float an insurer holds usually remains fairly stable in relation to premium volume. Consequently, as our business grows, so does our float. And *how* we have grown, as the following table shows:

Year	*Float (in millions)*
1970	$ 39
1980	237
1990	1,632
2000	27,871
2010	65,832
2015	87,722

Further gains in float will be tough to achieve. On the plus side, GEICO and several of our specialized operations are almost certain to grow at a good clip. National Indemnity's reinsurance division, however, is party to a number of run-off contracts whose float drifts downward. If we do in time experience a decline in float, it will be *very* gradual – at the outside no more than 3% in any year. The nature of our insurance contracts is such that we can *never* be subject to immediate or near-term demands for sums that are of significance to our cash resources. This structure is by design and is a key component in the strength of Berkshire's economic fortress. It will *never* be compromised.

If our premiums exceed the total of our expenses and eventual losses, we register an underwriting profit that adds to the investment income our float produces. When such a profit is earned, we enjoy the use of free money – and, better yet, get *paid* for holding it.

Unfortunately, the wish of all insurers to achieve this happy result creates intense competition, so vigorous indeed that it sometimes causes the P/C industry as a whole to operate at a significant underwriting *loss*. This loss, in effect, is what the industry pays to hold its float. Competitive dynamics almost guarantee that the insurance industry, despite the float income all its companies enjoy, will continue its dismal record of earning subnormal returns on tangible net worth as compared to other American businesses. The prolonged period of low interest rates the world is now dealing with also virtually guarantees that earnings on float will steadily decrease for many years to come, thereby exacerbating the profit problems of insurers. It's a good bet that industry results over the next ten years will fall short of those recorded in the past decade, particularly for those companies that specialize in reinsurance.

As noted early in this report, Berkshire has now operated at an underwriting profit for 13 consecutive years, our pre-tax gain for the period having totaled $26.2 billion. That's no accident: Disciplined risk evaluation is the daily focus of *all* of our insurance managers, who know that while float is valuable, its benefits can be drowned by poor underwriting results. All insurers give that message lip service. At Berkshire it is a religion, Old Testament style.

So how does our float affect intrinsic value? When Berkshire's *book* value is calculated, the *full* amount of our float is deducted as a *liability*, just as if we had to pay it out tomorrow and could not replenish it. But to think of float as strictly a liability is incorrect. It should instead be viewed as a revolving fund. Daily, we pay old claims and related expenses – a huge $24.5 billion to more than six million claimants in 2015 – and that reduces float. Just as surely, we each day write new business that will soon generate its own claims, adding to float.

If our revolving float is both costless and long-enduring, which I believe it will be, the true value of this liability is *dramatically* less than the accounting liability. Owing $1 that in effect will never leave the premises – because new business is almost certain to deliver a substitute – is worlds different from owing $1 that will go out the door tomorrow and not be replaced. The two types of liabilities, however, are treated as equals under GAAP.

A partial offset to this overstated liability is a $15.5 billion "goodwill" asset that we incurred in buying our insurance companies and that increases book value. In very large part, this goodwill represents the price we paid for the float-generating capabilities of our insurance operations. The cost of the goodwill, however, has *no* bearing on its true value. For example, if an insurance company sustains large and prolonged underwriting losses, *any* goodwill asset carried on the books should be deemed valueless, whatever its original cost.

Fortunately, that does not describe Berkshire. Charlie and I believe the true economic value of our insurance goodwill – what we would happily pay for float *of similar quality* were we to purchase an insurance operation possessing it – to be *far* in excess of its historic carrying value. Indeed, almost the entire $15.5 billion we carry for goodwill in our insurance business was already on our books in 2000. Yet we subsequently *tripled* our float. Its value today is one reason – a huge reason – why we believe Berkshire's intrinsic business value substantially exceeds its book value.

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Berkshire's attractive insurance economics exist only because we have some terrific managers running disciplined operations that possess hard-to-replicate business models. Let me tell you about the major units.

First by float size is the Berkshire Hathaway Reinsurance Group, managed by Ajit Jain. Ajit insures risks that no one else has the desire or the capital to take on. His operation combines capacity, speed, decisiveness and, most important, brains in a manner unique in the insurance business. Yet he never exposes Berkshire to risks that are inappropriate in relation to our resources.

Indeed, Berkshire is *far* more conservative in avoiding risk than most large insurers. For example, if the insurance industry should experience a $250 billion loss from some mega-catastrophe – a loss about triple anything it has ever experienced – Berkshire as a whole would likely record a significant profit for the year because of its many streams of earnings. We would also remain awash in cash and be looking for large opportunities to write business in an insurance market that might well be in disarray. Meanwhile, other major insurers and reinsurers would be swimming in red ink, if not facing insolvency.

When Ajit entered Berkshire's office on a Saturday in 1986, he did not have a day's experience in the insurance business. Nevertheless, Mike Goldberg, then our manager of insurance, handed him the keys to our reinsurance business. With that move, Mike achieved sainthood: Since then, Ajit has created tens of billions of value for Berkshire shareholders.

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We have another reinsurance powerhouse in General Re, managed by Tad Montross.

At bottom, a sound insurance operation needs to adhere to four disciplines. It must (1) understand *all* exposures that might cause a policy to incur losses; (2) conservatively assess the likelihood of any exposure actually causing a loss and the probable cost if it does; (3) set a premium that, on average, will deliver a profit after both prospective loss costs and operating expenses are covered; and (4) be willing to walk away if the appropriate premium can't be obtained.

Many insurers pass the first three tests and flunk the fourth. They simply can't turn their back on business that is being eagerly written by their competitors. That old line, "The other guy is doing it, so we must as well," spells trouble in any business, but in none more so than insurance.

Tad has observed all four of the insurance commandments, and it shows in his results. General Re's huge float has been considerably better than cost-free under his leadership, and we expect that, on average, to continue. We are particularly enthusiastic about General Re's international life reinsurance business, which has grown consistently and profitably since we acquired the company in 1998.

It can be remembered that soon after we purchased General Re, it was beset by problems that caused commentators – and me as well, briefly – to believe I had made a huge mistake. That day is long gone. General Re is now a gem.

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Finally, there is GEICO, the insurer on which I cut my teeth 65 years ago. GEICO is managed by Tony Nicely, who joined the company at 18 and completed 54 years of service in 2015. Tony became CEO in 1993, and since then the company has been flying. There is *no* better manager than Tony. In the 40 years that I've known him, his every action has made great sense.

When I was first introduced to GEICO in January 1951, I was blown away by the huge cost advantage the company enjoyed compared to the expenses borne by the giants of the industry. It was clear to me that GEICO would succeed because it *deserved* to succeed.

No one *likes* to buy auto insurance. Almost everyone, though, likes to drive. The insurance consequently needed is a major expenditure for most families. Savings matter to them – and *only* a low-cost operation can deliver these. Indeed, at least 40% of the people reading this letter can save money by insuring with GEICO. So stop reading – right now! – and go to geico.com or call 800-368-2734.

GEICO's cost advantage is the factor that has enabled the company to gobble up market share year after year. (We ended 2015 with 11.4% of the market compared to 2.5% in 1995, when Berkshire acquired control of GEICO.) The company's low costs create a moat – an *enduring* one – that competitors are unable to cross.

All the while, our gecko never tires of telling Americans how GEICO can save them important money. I love hearing the little guy deliver his message: "15 minutes could save you 15% or more on car insurance." (Of course, there's always a grouch in the crowd. One of my friends says he is glad that only a few animals can talk, since the ones that do speak seem unable to discuss any subject but insurance.)

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In addition to our three major insurance operations, we own a group of smaller companies that primarily write commercial coverages. In aggregate, these companies are a large, growing and valuable operation that consistently delivers an underwriting profit, usually much better than that reported by their competitors. Indeed, over the past 13 years, this group has earned $4 billion from underwriting – about 13% of its premium volume – while increasing its float from $943 million to $9.9 billion.

Less than three years ago, we formed Berkshire Hathaway Specialty Insurance ("BHSI"), which we include in this group. Our first decision was to put Peter Eastwood in charge. That move was a home run: BHSI has already developed $1 billion of annual premium volume and, under Peter's direction, is destined to become one of the world's leading P/C insurers.

Here's a recap of underwriting earnings and float by division:

	Underwriting Profit		*Yearend Float*	
			(in millions)	
Insurance Operations	*2015*	*2014*	*2015*	*2014*
BH Reinsurance	$ 421	$ 606	$ 44,108	$ 42,454
General Re	132	277	18,560	19,280
GEICO	460	1,159	15,148	13,569
Other Primary	824	626	9,906	8,618
	$ 1,837	$ 2,668	$ 87,722	$ 83,921

Berkshire's great managers, premier financial strength and a variety of business models protected by wide moats amount to something unique in the insurance world. This assemblage of strengths is a huge asset for Berkshire shareholders that will only get more valuable with time.

Regulated, Capital-Intensive Businesses

We have two major operations, BNSF and BHE, that share important characteristics distinguishing them from our other businesses. Consequently, we assign them their own section in this letter and split out their combined financial statistics in our GAAP balance sheet and income statement. Together, they last year accounted for 37% of Berkshire's after-tax operating earnings.

A key characteristic of both companies is their huge investment in very long-lived, regulated assets, with these partially funded by large amounts of long-term debt that is *not* guaranteed by Berkshire. Our credit is in fact not needed because each company has earning power that even under terrible economic conditions would far exceed its interest requirements. Last year, for example, in a disappointing year for railroads, BNSF's interest coverage was more than 8:1. (Our definition of coverage is the ratio of earnings before interest and taxes to interest, *not* EBITDA/interest, a commonly used measure we view as seriously flawed.)

At BHE, meanwhile, two factors ensure the company's ability to service its debt under all circumstances. The first is common to all utilities: recession-resistant earnings, which result from these companies offering an essential service on an exclusive basis. The second is enjoyed by few other utilities: a great and ever-widening diversity of earnings streams, which shield BHE from being seriously harmed by any single regulatory body. These many sources of profit, supplemented by the inherent advantage of being owned by a strong parent, have allowed BHE and its utility subsidiaries to significantly lower their cost of debt. This economic fact benefits both us *and* our customers.

All told, BHE and BNSF invested $11.6 billion in plant and equipment last year, a massive commitment to key components of America's infrastructure. We relish making such investments as long as they promise reasonable returns – and, on that front, we put a large amount of trust in future regulation.

Our confidence is justified both by our past experience and by the knowledge that society will forever need huge investments in both transportation and energy. It is in the self-interest of governments to treat capital providers in a manner that will ensure the continued flow of funds to essential projects. It is concomitantly in our self-interest to conduct our operations in a way that earns the approval of our regulators and the people they represent.

Low prices are a powerful way to keep these constituencies happy. In Iowa, BHE's average retail rate is 6.8¢ per KWH. Alliant, the other major electric utility in the state, averages 9.5¢. Here are the comparable industry figures for adjacent states: Nebraska 9.0¢, Missouri 9.3¢, Illinois 9.3¢, Minnesota 9.7¢. The national average is 10.4¢. Our rock-bottom prices add up to real money for paycheck-strapped customers.

At BNSF, price comparisons between major railroads are far more difficult to make because of significant differences in both their mix of cargo and the average distance it is carried. To supply a *very* crude measure, however, our revenue per ton-mile was just under 3¢ last year, while shipping costs for customers of the other four major U.S.-based railroads were at least 40% higher, ranging from 4.2¢ to 5.3¢.

Both BHE and BNSF have been leaders in pursuing planet-friendly technology. In wind generation, no state comes close to Iowa, where last year megawatt-hours we generated from wind equaled 47% of all megawatt-hours sold to our retail customers. (Additional wind projects to which we are committed will take that figure to 58% in 2017.)

BNSF, like other Class I railroads, uses only a single gallon of diesel fuel to move a ton of freight almost 500 miles. That makes the railroads four times as fuel-efficient as trucks! Furthermore, railroads alleviate highway congestion – and the taxpayer-funded maintenance expenditures that come with heavier traffic – in a major way.

Here are the key figures for BHE and BNSF:

Berkshire Hathaway Energy (89.9% owned)	*Earnings (in millions)*		
	2015	*2014*	*2013*
U.K. utilities	$ 460	$ 527	$ 362
Iowa utility	314	298	230
Nevada utilities	586	549	(58)
PacifiCorp (primarily Oregon and Utah)	1,026	1,010	982
Gas pipelines (Northern Natural and Kern River)	401	379	385
Canadian transmission utility	170	16	—
Renewable projects	175	194	50
HomeServices	191	139	139
Other (net)	27	26	12
Operating earnings before corporate interest and taxes	3,350	3,138	2,102
Interest	499	427	296
Income taxes	481	616	170
Net earnings	$ 2,370	$ 2,095	$ 1,636
Earnings applicable to Berkshire	$ 2,132	$ 1,882	$ 1,470

BNSF	*Earnings (in millions)*		
	2015	*2014*	*2013*
Revenues	$ 21,967	$ 23,239	$ 22,014
Operating expenses	14,264	16,237	15,357
Operating earnings before interest and taxes	7,703	7,002	6,657
Interest (net)	928	833	729
Income taxes	2,527	2,300	2,135
Net earnings	$ 4,248	$ 3,869	$ 3,793

I currently expect increased after-tax earnings at BHE in 2016, but lower earnings at BNSF.

Manufacturing, Service and Retailing Operations

Our activities in this part of Berkshire cover the waterfront. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/15 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 6,807	Notes payable	$ 2,135
Accounts and notes receivable	8,886	Other current liabilities	10,565
Inventory	11,916	Total current liabilities	12,700
Other current assets	970		
Total current assets	28,579		
		Deferred taxes	3,649
Goodwill and other intangibles	30,289	Term debt and other liabilities	4,767
Fixed assets	15,161	Non-controlling interests	521
Other assets	4,445	Berkshire equity	56,837
	$ 78,474		$ 78,474

Earnings Statement (in millions)

	2015	*2014*	*2013**
Revenues	$107,825	$ 97,689	$ 93,472
Operating expenses	100,607	90,788	87,208
Interest expense	103	109	104
Pre-tax earnings	7,115	6,792	6,160
Income taxes and non-controlling interests	2,432	2,324	2,283
Net earnings	$ 4,683	$ 4,468	$ 3,877

* Earnings for 2013 have been restated to exclude Marmon's leasing operations, which are now included in the Finance and Financial Products results.

Our income and expense data conforming to GAAP is on page 38. In contrast, the operating expense figures above are non-GAAP because they exclude some purchase-accounting items (primarily the amortization of certain intangible assets). We present the data in this manner because Charlie and I believe the adjusted numbers more accurately reflect the true economic expenses and profits of the businesses aggregated in the table than do GAAP figures.

I won't explain all of the adjustments – some are tiny and arcane – but serious investors should understand the disparate nature of intangible assets. Some truly deplete in value over time, while others *in no way* lose value. For software, as a big example, amortization charges are very real expenses. Conversely, the concept of recording charges against other intangibles, such as customer relationships, arises from purchase-accounting rules and clearly does not reflect economic reality. GAAP accounting draws no distinction between the two types of charges. Both, that is, are recorded as expenses when earnings are calculated – even though, from an investor's viewpoint, they could not differ more.

In the GAAP-compliant figures we show on page 38, amortization charges of $1.1 billion have been deducted as expenses. We would call about 20% of these "real," the rest not. The "non-real" charges, once non-existent at Berkshire, have become significant because of the many acquisitions we have made. Non-real amortization charges are likely to climb further as we acquire more companies.

The table on page 55 gives you the current status of our intangible assets as calculated by GAAP. We now have $6.8 billion left of amortizable intangibles, of which $4.1 billion will be expensed over the next five years. Eventually, of course, every dollar of these "assets" will be charged off. When that happens, reported earnings increase even if true earnings are flat. (My gift to my successor.)

I suggest that you ignore a portion of GAAP amortization costs. But it is with some trepidation that I do that, knowing that it has become common for managers to tell their owners to ignore certain expense items that are all too real. "Stock-based compensation" is the most egregious example. The very name says it all: "compensation." If compensation isn't an expense, what is it? And, if real and recurring expenses don't belong in the calculation of earnings, where in the world do they belong?

Wall Street analysts often play their part in this charade, too, parroting the phony, compensation-ignoring "earnings" figures fed them by managements. Maybe the offending analysts don't know any better. Or maybe they fear losing "access" to management. Or maybe they are cynical, telling themselves that since everyone else is playing the game, why shouldn't they go along with it. Whatever their reasoning, these analysts are guilty of propagating misleading numbers that can deceive investors.

Depreciation charges are a more complicated subject but are almost always true costs. Certainly they are at Berkshire. I wish we could keep our businesses competitive while spending less than our depreciation charge, but in 51 years I've yet to figure out how to do so. Indeed, the depreciation charge we record in our railroad business falls far short of the capital outlays needed to merely keep the railroad running properly, a mismatch that leads to GAAP earnings that are higher than true economic earnings. (This overstatement of earnings exists at all railroads.) When CEOs or investment bankers tout pre-depreciation figures such as EBITDA as a valuation guide, watch their noses lengthen while they speak.

Our public reports of earnings will, of course, continue to conform to GAAP. To embrace reality, however, you should remember to add back most of the amortization charges we report. You should also subtract something to reflect BNSF's inadequate depreciation charge.

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Let's get back to our many manufacturing, service and retailing operations, which sell products ranging from lollipops to jet airplanes. Some of this sector's businesses, measured by earnings on unleveraged net *tangible* assets, enjoy terrific economics, producing profits that run from 25% after-tax to far more than 100%. Others generate good returns in the area of 12% to 20%.

A few, however – these are serious mistakes I made in my job of capital allocation – have very poor returns. In most of these cases, I was wrong in my evaluation of the economic dynamics of the company or the industry in which it operates, and we are now paying the price for my misjudgments. At other times, I stumbled in evaluating either the fidelity or the ability of incumbent managers or ones I later appointed. I will commit more errors; you can count on that. If we luck out, they will occur at our smaller operations.

Viewed as a single entity, the companies in this group are an excellent business. They employed an average of $25.6 billion of net tangible assets during 2015 and, despite their holding large quantities of excess cash and using only token amounts of leverage, earned 18.4% after-tax on that capital.

Of course, a business with terrific economics can be a bad investment if it is bought at too high a price. We have paid substantial premiums to net tangible assets for most of our businesses, a cost that is reflected in the large figure we show for goodwill and other intangibles. Overall, however, we are getting a decent return on the capital we have deployed in this sector. Earnings from the group should grow substantially in 2016 as Duracell and Precision Castparts enter the fold.

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We have far too many companies in this group to comment on them individually. Moreover, their competitors – both current and potential – read this report. In a few of our businesses we might be disadvantaged if others knew our numbers. In some of our operations that are not of a size material to an evaluation of Berkshire, therefore, we only disclose what is required. You can nevertheless find a good bit of detail about many of our operations on pages 88-91.

Finance and Financial Products

Our three leasing and rental operations are conducted by CORT (furniture), XTRA (semi-trailers), and Marmon (primarily tank cars but also freight cars, intermodal tank containers and cranes). These companies are industry leaders and have substantially increased their earnings as the American economy has gained strength. At each of the three, we have invested more money in new equipment than have many of our competitors, and that's paid off. Dealing from strength is one of Berkshire's enduring advantages.

Kevin Clayton has again delivered an industry-leading performance at Clayton Homes, the second-largest home builder in America. Last year, the company sold 34,397 homes, about 45% of the manufactured homes bought by Americans. In contrast, the company was number three in the field, with a 14% share, when Berkshire purchased it in 2003.

Manufactured homes allow the American dream of home ownership to be achieved by lower-income citizens: Around 70% of new homes costing $150,000 or less come from our industry. About 46% of Clayton's homes are sold through the 331 stores we ourselves own and operate. Most of Clayton's remaining sales are made to 1,395 independent retailers.

Key to Clayton's operation is its $12.8 billion mortgage portfolio. We originate about 35% of *all* mortgages on manufactured homes. About 37% of our mortgage portfolio emanates from our retail operation, with the balance primarily originated by independent retailers, some of which sell our homes while others market only the homes of our competitors.

Lenders other than Clayton have come and gone. With Berkshire's backing, however, Clayton steadfastly financed home buyers throughout the panic days of 2008-2009. Indeed, during that period, Clayton used precious capital to finance dealers who did *not* sell our homes. The funds we supplied to Goldman Sachs and General Electric at that time produced headlines; the funds Berkshire quietly delivered to Clayton both made home ownership possible for thousands of families and kept many non-Clayton dealers alive.

Our retail outlets, employing simple language and large type, consistently inform home buyers of alternative sources for financing – most of it coming from local banks – and always secure acknowledgments from customers that this information has been received and read. (The form we use is reproduced in its actual size on page 119.)

Mortgage-origination practices are of great importance to both the borrower and to society. There is no question that reckless practices in home lending played a major role in bringing on the financial panic of 2008, which in turn led to the Great Recession. In the years preceding the meltdown, a destructive and often corrupt pattern of mortgage creation flourished whereby (1) an originator in, say, California would make loans and (2) promptly sell them to an investment or commercial bank in, say, New York, which would package many mortgages to serve as collateral for a dizzyingly complicated array of mortgage-backed securities to be (3) sold to unwitting institutions around the world.

As if these sins weren't sufficient to create an unholy mess, imaginative investment bankers sometimes concocted a second layer of sliced-up financing whose value depended on the junkier portions of primary offerings. (When Wall Street gets "innovative," watch out!) While that was going on, I described this "doubling-up" practice as requiring an investor to read tens of thousands of pages of mind-numbing prose to evaluate a single security being offered.

Both the originator and the packager of these financings had no skin in the game and were driven by volume and mark-ups. Many housing borrowers joined the party as well, blatantly lying on their loan applications while mortgage originators looked the other way. Naturally, the gamiest credits generated the most profits. Smooth Wall Street salesmen garnered millions annually by manufacturing products that their customers were unable to understand. (It's also questionable as to whether the major rating agencies were capable of evaluating the more complex structures. But rate them they did.)

Barney Frank, perhaps the most financially-savvy member of Congress during the panic, recently assessed the 2010 Dodd-Frank Act, saying, "The one major weakness that I've seen in the implementation was this decision by the regulators not to impose risk retention on all residential mortgages." Today, some legislators and commentators continue to advocate a 1%-to-5% retention by the originator as a way to align its interests with that of the ultimate lender or mortgage guarantor.

At Clayton, our risk retention was, and is, 100%. When we originate a mortgage we keep it (leaving aside the few that qualify for a government guarantee). When we make mistakes in granting credit, we therefore pay a price – a hefty price that dwarfs any profit we realized upon the original sale of the home. Last year we had to foreclose on 8,444 manufactured-housing mortgages at a cost to us of $157 million.

The average loan we made in 2015 was only $59,942, small potatoes for traditional mortgage lenders, but a daunting commitment for our many lower-income borrowers. Our buyer acquires a decent home – take a look at the home we will have on display at our annual meeting – requiring monthly principal-and-interest payments that average $522.

Some borrowers, of course, will lose their jobs, and there will be divorces and deaths. Others will get over-extended on credit cards and mishandle their finances. We will lose money then, and our borrower will lose his down payment (though his mortgage payments during his time of occupancy may have been well under rental rates for comparable quarters). Nevertheless, despite the low FICO scores and income of our borrowers, their payment behavior during the Great Recession was *far* better than that prevailing in many mortgage pools populated by people earning multiples of our typical borrower's income.

The strong desire of our borrowers to have a home of their own is one reason we've done well with our mortgage portfolio. Equally important, we have financed much of the portfolio with floating-rate debt or with short-term fixed-rate debt. Consequently, the incredibly low short-term rates of recent years have provided us a constantly-widening spread between our interest costs and the income we derive from our mortgage portfolio, which bears fixed rates. (Incidentally, we would have enjoyed similar margins had we simply bought long-term bonds and financed the position in some short-term manner.)

Normally, it is risky business to lend long at fixed rates and borrow short as we have been doing at Clayton. Over the years, some important financial institutions have gone broke doing that. At Berkshire, however, we possess a natural offset in that our businesses always maintain at least $20 billion in cash-equivalents that *earn* short-term rates. More often, our short-term investments are in the $40 billion to $60 billion range. If we have, say, $60 billion invested at ¼% or less, a sharp move to higher short-term rates would bring benefits to us far exceeding the higher financing costs we would incur in funding Clayton's $13 billion mortgage portfolio. In banking terms, Berkshire is – and always will be – heavily asset-sensitive and will consequently benefit from rising interest rates.

Let me talk about one subject of which I am particularly proud, that having to do with regulation. The Great Recession caused mortgage originators, servicers and packagers to come under intense scrutiny and to be assessed many billions of dollars in fines and penalties.

The scrutiny has certainly extended to Clayton, whose mortgage practices have been continuously reviewed and examined in respect to such items as originations, servicing, collections, advertising, compliance, and internal controls. At the federal level, we answer to the Federal Trade Commission, the Department of Housing and Urban Development and the Consumer Financial Protection Bureau. Dozens of states regulate us as well. During the past two years, indeed, various federal and state authorities (from 25 states) examined and reviewed Clayton and its mortgages on 65 occasions. The result? Our total fines during this period were $38,200 and our refunds to customers $704,678. Furthermore, though we had to foreclose on 2.64% of our manufactured-home mortgages last year, 95.4% of our borrowers were current on their payments at yearend, as they moved toward owning a debt-free home.

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Marmon's rail fleet expanded to 133,220 units by yearend, a number significantly increased by the company's purchase of 25,085 cars from General Electric on September 30. If our fleet was connected to form a single train, the engine would be in Omaha and the caboose in Portland, Maine.

At yearend, 97% of our railcars were leased, with about 15-17% of the fleet coming up for renewal each year. Though "tank cars" sound like vessels carrying crude oil, only about 7% of our fleet carries that product; chemicals and refined petroleum products are the lead items we transport. When trains roll by, look for the UTLX or Procor markings that identify our tank cars. When you spot the brand, puff out your chest; you own a portion of that car.

Here's the earnings recap for this sector:

	2015	*2014*	*2013*
		(in millions)	
Berkadia (our 50% share)	$ 74	$ 122	$ 80
Clayton	706	558	416
CORT	55	49	42
Marmon – Containers and Cranes	192	238	226
Marmon – Railcars	546	442	353
XTRA	172	147	125
Net financial income*	341	283	322
	$ 2,086	$ 1,839	$ 1,564

* Excludes capital gains or losses

Investments

Below we list our fifteen common stock investments that at yearend had the largest market value. We exclude our Kraft Heinz holding because we are part of a control group and account for it on the "equity" method.

			12/31/15	
*Shares***	*Company*	*Percentage of Company Owned*	*Cost**	*Market*
			(in millions)	
151,610,700	American Express Company	15.6	$ 1,287	$ 10,545
46,577,138	AT&T	0.8	1,283	1,603
7,463,157	Charter Communications, Inc.	6.6	1,202	1,367
400,000,000	The Coca-Cola Company	9.3	1,299	17,184
18,513,482	DaVita HealthCare Partners Inc.	8.8	843	1,291
22,164,450	Deere & Company	7.0	1,773	1,690
11,390,582	The Goldman Sachs Group, Inc.	2.7	654	2,053
81,033,450	International Business Machines Corp.	8.4	13,791	11,152
24,669,778	Moody's Corporation	12.6	248	2,475
55,384,926	Phillips 66	10.5	4,357	4,530
52,477,678	The Procter & Gamble Company	1.9	336	4,683 ***
22,169,930	Sanofi	1.7	1,701	1,896
101,859,335	U.S. Bancorp	5.8	3,239	4,346
63,507,544	Wal-Mart Stores, Inc.	2.0	3,593	3,893
500,000,000	Wells Fargo & Company	9.8	12,730	27,180
	Others		10,276	16,450
	Total Common Stocks Carried at Market		$ 58,612	$ 112,338

* This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-ups or write-downs that have been required under GAAP rules.

** Excludes shares held by pension funds of Berkshire subsidiaries.

*** Held under contract of sale for this amount.

Berkshire has one major equity position that is not included in the table: We can buy 700 million shares of Bank of America at any time prior to September 2021 for $5 billion. At yearend these shares were worth $11.8 billion. We are likely to purchase them just before expiration of our option and, if we wish, we can use our $5 billion of Bank of America 6% preferred to fund the purchase. In the meantime, it is important for you to realize that Bank of America is, in effect, our fourth largest equity investment – and one we value highly.

Productivity and Prosperity

Earlier, I told you how our partners at Kraft Heinz root out inefficiencies, thereby increasing output per hour of employment. That kind of improvement has been the secret sauce of America's remarkable gains in living standards since the nation's founding in 1776. Unfortunately, the label of "secret" is appropriate: Too few Americans fully grasp the linkage between productivity and prosperity. To see that connection, let's look first at the country's most dramatic example – farming – and later examine three Berkshire-specific areas.

In 1900, America's civilian work force numbered 28 million. Of these, 11 million, a staggering 40% of the total, worked in farming. The leading crop then, as now, was corn. About 90 million acres were devoted to its production and the yield per acre was 30 bushels, for a total output of 2.7 billion bushels annually.

Then came the tractor and one innovation after another that revolutionized such keys to farm productivity as planting, harvesting, irrigation, fertilization and seed quality. Today, we devote about 85 million acres to corn. Productivity, however, has improved yields to more than 150 bushels per acre, for an annual output of 13-14 billion bushels. Farmers have made similar gains with other products.

Increased yields, though, are only half the story: The huge increases in physical output have been accompanied by a dramatic reduction in the number of farm laborers ("human input"). Today about three million people work on farms, a tiny 2% of our 158-million-person work force. Thus, improved farming methods have allowed tens of millions of present-day workers to utilize their time and talents in other endeavors, a reallocation of human resources that enables Americans of today to enjoy huge quantities of *non-farm* goods and services they would otherwise lack.

It's easy to look back over the 115-year span and realize how extraordinarily beneficial agricultural innovations have been – not just for farmers but, more broadly, for our entire society. We would not have anything close to the America we now know had we stifled those improvements in productivity. (It was fortunate that horses couldn't vote.) On a day-to-day basis, however, talk of the "greater good" must have rung hollow to farm hands who lost their jobs to machines that performed routine tasks far more efficiently than humans ever could. We will examine this flip-side to productivity gains later in this section.

For the moment, however, let's move on to three stories of efficiencies that have had major consequences for Berkshire subsidiaries. Similar transformations have been commonplace throughout American business.

- In 1947, shortly after the end of World War II, the American workforce totaled 44 million. About 1.35 million workers were employed in the railroad industry. The revenue ton-miles of freight moved by Class I railroads that year totaled 655 billion.

  By 2014, Class I railroads carried 1.85 trillion ton-miles, an increase of 182%, while employing only 187,000 workers, a reduction of 86% since 1947. (Some of this change involved passenger-related employees, but most of the workforce reduction came on the freight side.) As a result of this staggering improvement in productivity, the inflation-adjusted price for moving a ton-mile of freight has fallen by 55% since 1947, a drop saving shippers about $90 billion *annually* in current dollars.

  Another startling statistic: If it took as many people now to move freight as it did in 1947, we would need well over three million railroad workers to handle present volumes. (Of course, that level of employment would raise freight charges by a lot; consequently, nothing close to today's volume would actually move.)

Our own BNSF was formed in 1995 by a merger between Burlington Northern and Santa Fe. In 1996, the merged company's first full year of operation, 411 million ton-miles of freight were transported by 45,000 employees. Last year the comparable figures were 702 million ton-miles (plus 71%) and 47,000 employees (plus only 4%). That dramatic gain in productivity benefits both owners and shippers. Safety at BNSF has improved as well: Reportable injuries were 2.04 per 200,000 man-hours in 1996 and have since fallen more than 50% to 0.95.

- A bit more than a century ago, the auto was invented, and around it formed an industry that insures cars and their drivers. Initially, this business was written through traditional insurance agencies – the kind dealing in fire insurance. This agency-centric approach included high commissions and other underwriting expenses that consumed about 40¢ of the premium dollar. Strong local agencies were then in the driver's seat because they represented multiple insurers and could play one company off against another when commissions were being negotiated. Cartel-like pricing prevailed, and all involved were doing fine – except for the consumer.

  And then some American ingenuity came into play: G. J. Mecherle, a farmer from Merna, Illinois, came up with the idea of a captive sales force that would sell the insurance products of only a single company. His baby was christened State Farm Mutual. The company cut commissions and expenses – moves that permitted lower prices – and soon became a powerhouse. For many decades, State Farm has been the runaway volume leader in both auto and homeowner's insurance. Allstate, which also operated with a direct distribution model, was long the runner-up. Both State Farm and Allstate have had underwriting expenses of about 25%.

  In the early 1930s, another contender, United Services Auto Association ("USAA"), a mutual-like company, was writing auto insurance for military officers on a direct-to-the-customer basis. This marketing innovation rose from a need that military personnel had to buy insurance that would stay with them as they moved from base to base. That was business of little interest to local insurance agencies, which wanted the steady renewals that came from permanent residents.

  The direct distribution method of USAA, as it happened, incurred lower costs than those enjoyed by State Farm and Allstate and therefore delivered an even greater bargain to customers. That made Leo and Lillian Goodwin, employees of USAA, dream of broadening the target market for its direct distribution model beyond military officers. In 1936, starting with $100,000 of capital, they incorporated Government Employees Insurance Co. (later compressing this mouthful to GEICO).

  Their fledgling did $238,000 of auto insurance business in 1937, its first full year. Last year GEICO did $22.6 *billion*, more than double the volume of USAA. (Though the early bird gets the worm, the second mouse gets the cheese.) GEICO's underwriting expenses in 2015 were 14.7% of premiums, with USAA being the only large company to achieve a lower percentage. (GEICO is fully as efficient as USAA but spends considerably more on advertising aimed at promoting growth.)

  With the price advantage GEICO's low costs allow, it's not surprising that several years ago the company seized the number two spot in auto insurance from Allstate. GEICO is also gaining ground on State Farm, though it is still far ahead of us in volume. On August 30, 2030 – my 100th birthday – I plan to announce that GEICO has taken over the top spot. Mark your calendar.

  GEICO employs about 34,000 people to serve its 14 million policyholders. I can only guess at the workforce it would require to serve a similar number of policyholders under the agency system. I believe, however, that the number would be at least 60,000, a combination of what the insurer would need in direct employment and the personnel required at supporting agencies.

- In its electric utility business, our Berkshire Hathaway Energy ("BHE") operates within a changing economic model. Historically, the survival of a local electric company did not depend on its efficiency. In fact, a "sloppy" operation could do just fine financially.

  That's because utilities were usually the sole supplier of a needed product and were allowed to price at a level that gave them a prescribed return upon the capital they employed. The joke in the industry was that a utility was the only business that would automatically earn more money by redecorating the boss's office. And some CEOs ran things accordingly.

  That's all changing. Today, society has decided that federally-subsidized wind and solar generation is in our country's long-term interest. Federal tax credits are used to implement this policy, support that makes renewables price-competitive in certain geographies. Those tax credits, or other government-mandated help for renewables, may eventually erode the economics of the incumbent utility, particularly if it is a high-cost operator. BHE's long-established emphasis on efficiency – even when the company didn't need it to attain authorized earnings – leaves us particularly competitive in today's market (and, more important, in tomorrow's as well).

  BHE acquired its Iowa utility in 1999. In the year before, that utility employed 3,700 people and produced 19 million megawatt-hours of electricity. Now we employ 3,500 people and produce 29 million megawatt-hours. That major increase in efficiency allowed us to operate without a rate increase for 16 years, a period during which industry rates increased 44%.

  The safety record of our Iowa utility is also outstanding. It had .79 injuries per 100 employees in 2015 compared to the rate of 7.0 experienced by the previous owner in the year before we bought the operation.

  In 2006 BHE purchased PacifiCorp, which operated primarily in Oregon and Utah. The year before our purchase PacifiCorp employed 6,750 people and produced 52.6 million megawatt-hours. Last year the numbers were 5,700 employees and 56.3 million megawatt-hours. Here, too, safety improved dramatically, with the accident-rate-per-100-employees falling from 3.4 in 2005 to .85 in 2015. In safety, BHE now ranks in the industry's top decile.

  Those outstanding performances explain why BHE is welcomed by regulators when it proposes to buy a utility in their jurisdiction. The regulators know the company will run an efficient, safe and reliable operation and also arrive with unlimited capital to fund whatever projects make sense. (BHE has never paid a dividend to Berkshire since we assumed ownership. No investor-owned utility in America comes close to matching BHE's enthusiasm for reinvestment.)

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The productivity gains that I've just spelled out – and countless others that have been achieved in America – have delivered awesome benefits to society. That's the reason our citizens, as a whole, have enjoyed – and will continue to enjoy – major gains in the goods and services they receive.

To this thought there are offsets. First, the productivity gains achieved in recent years have largely benefitted the wealthy. Second, productivity gains frequently cause upheaval: Both capital and labor can pay a terrible price when innovation or new efficiencies upend their worlds.

We need shed no tears for the capitalists (whether they be private owners or an army of public shareholders). It's their job to take care of themselves. When large rewards can flow to investors from good decisions, these parties should not be spared the losses produced by *wrong* choices. Moreover, investors who diversify widely and simply sit tight with their holdings are certain to prosper: In America, gains from winning investments have always *far* more than offset the losses from clunkers. (During the 20th Century, the Dow Jones Industrial Average – an index fund of sorts – soared from 66 to 11,497, with its component companies all the while paying ever-increasing dividends.)

A long-employed worker faces a different equation. When innovation and the market system interact to produce efficiencies, many workers may be rendered unnecessary, their talents obsolete. Some can find decent employment elsewhere; for others, that is not an option.

When low-cost competition drove shoe production to Asia, our once-prosperous Dexter operation folded, putting 1,600 employees in a small Maine town out of work. Many were past the point in life at which they could learn another trade. We lost our entire investment, which we could afford, but many workers lost a livelihood they could not replace. The same scenario unfolded in slow-motion at our original New England textile operation, which struggled for 20 years before expiring. Many older workers at our New Bedford plant, as a poignant example, spoke Portuguese and knew little, if any, English. They had no Plan B.

The answer in such disruptions is not the restraining or outlawing of actions that increase productivity. Americans would not be living nearly as well as we do if we had mandated that 11 million people should forever be employed in farming.

The solution, rather, is a variety of safety nets aimed at providing a decent life for those who are willing to work but find their specific talents judged of small value because of market forces. (I personally favor a reformed and expanded Earned Income Tax Credit that would try to make sure America works for those willing to work.) The price of achieving ever-increasing prosperity for the great majority of Americans should not be penury for the unfortunate.

Important Risks

We, like all public companies, are required by the SEC to annually catalog "risk factors" in our 10-K. I can't remember, however, an instance when reading a 10-K's "risk" section has helped me in evaluating a business. That's not because the identified risks aren't real. The truly important risks, however, are usually well known. Beyond that, a 10-K's catalog of risks is seldom of aid in assessing: (1) the probability of the threatening event actually occurring; (2) the range of costs if it does occur; and (3) the timing of the possible loss. A threat that will only surface 50 years from now may be a problem for society, but it is not a *financial* problem for today's investor.

Berkshire operates in more industries than any company I know of. Each of our pursuits has its own array of possible problems and opportunities. Those are easy to list but hard to evaluate: Charlie, I and our various CEOs often differ in a very major way in our calculation of the likelihood, the timing and the cost (or benefit) that may result from these possibilities.

Let me mention just a few examples. To begin with an obvious threat, BNSF, along with other railroads, is *certain* to lose significant coal volume over the next decade. At some point in the future – though not, in my view, for a long time – GEICO's premium volume *may* shrink because of driverless cars. This development could hurt our auto dealerships as well. Circulation of our print newspapers will continue to fall, a certainty we allowed for when purchasing them. To date, renewables have helped our utility operation but that could change, particularly if storage capabilities for electricity materially improve. Online retailing threatens the business model of our retailers and certain of our consumer brands. These potentialities are just a few of the negative possibilities facing us – but even the most casual follower of business news has long been aware of them.

None of these problems, however, is crucial to Berkshire's long-term well-being. When we took over the company in 1965, its risks could have been encapsulated in a single sentence: "The northern textile business in which all of our capital resides is destined for recurring losses and will eventually disappear." That development, however, was no death knell. We simply adapted. And we will continue to do so.

Every day Berkshire managers are thinking about how they can better compete in an always-changing world. Just as vigorously, Charlie and I focus on where a steady stream of funds should be deployed. In that respect, we possess a major advantage over one-industry companies, whose options are far more limited. I firmly believe that Berkshire has the money, talent and culture to plow through the sort of adversities I've itemized above – and many more – and to emerge with ever-greater earning power.

There is, however, one clear, present and enduring danger to Berkshire against which Charlie and I are powerless. That threat to Berkshire is also the major threat our citizenry faces: a "successful" (as defined by the aggressor) cyber, biological, nuclear or chemical attack on the United States. That is a risk Berkshire shares with *all* of American business.

The probability of such mass destruction in any given year is likely very small. It's been more than 70 years since I delivered a Washington Post newspaper headlining the fact that the United States had dropped the first atomic bomb. Subsequently, we've had a few close calls but avoided catastrophic destruction. We can thank our government – and luck! – for this result.

Nevertheless, what's a small probability in a short period approaches certainty in the longer run. (If there is only one chance in thirty of an event occurring in a given year, the likelihood of it occurring at least once in a century is 96.6%.) The added bad news is that there will forever be people and organizations and perhaps even nations that would like to inflict maximum damage on our country. Their means of doing so have increased exponentially during my lifetime. "Innovation" has its dark side.

There is no way for American corporations or their investors to shed this risk. If an event occurs in the U.S. that leads to mass devastation, the value of all equity investments will almost certainly be decimated.

No one knows what "the day after" will look like. I think, however, that Einstein's 1949 appraisal remains apt: "I know not with what weapons World War III will be fought, but World War IV will be fought with sticks and stones."

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I am writing this section because we have a proxy proposal regarding climate change to consider at this year's annual meeting. The sponsor would like us to provide a report on the dangers that this change might present to our insurance operation and explain how we are responding to these threats.

It seems highly likely to me that climate change poses a major problem for the planet. I say "highly likely" rather than "certain" because I have no scientific aptitude and remember well the dire predictions of most "experts" about Y2K. It would be foolish, however, for me or anyone to demand 100% proof of huge forthcoming damage to the world if that outcome seemed at all possible and if prompt action had even a small chance of thwarting the danger.

This issue bears a similarity to Pascal's Wager on the Existence of God. Pascal, it may be recalled, argued that if there were only a tiny probability that God truly existed, it made sense to behave as if He did because the rewards could be infinite whereas the lack of belief risked eternal misery. Likewise, if there is only a 1% chance the planet is heading toward a truly major disaster and delay means passing a point of no return, inaction now is foolhardy. Call this Noah's Law: If an ark may be essential for *survival*, begin building it today, no matter how cloudless the skies appear.

It's understandable that the sponsor of the proxy proposal believes Berkshire is especially threatened by climate change because we are a huge insurer, covering all sorts of risks. The sponsor may worry that property losses will skyrocket because of weather changes. And such worries might, in fact, be warranted if we wrote ten- or twenty-year policies at fixed prices. But insurance policies are customarily written for one year and repriced annually to reflect changing exposures. Increased possibilities of loss translate promptly into increased premiums.

Think back to 1951 when I first became enthused about GEICO. The company's average loss-per-policy was then about $30 annually. Imagine your reaction if I had predicted then that in 2015 the loss costs would increase to about $1,000 per policy. Wouldn't such skyrocketing losses prove disastrous, you might ask? Well, no.

Over the years, inflation has caused a huge increase in the cost of repairing both the cars and the humans involved in accidents. But these increased costs have been promptly matched by increased premiums. So, paradoxically, the upward march in loss costs has made insurance companies far more *valuable*. If costs had remained unchanged, Berkshire would now own an auto insurer doing $600 million of business annually rather than one doing $23 billion.

Up to now, climate change has *not* produced more frequent nor more costly hurricanes nor other weather-related events covered by insurance. As a consequence, U.S. super-cat rates have *fallen* steadily in recent years, which is why we have backed away from that business. If super-cats become costlier and more frequent, the likely – though far from certain – effect on Berkshire's insurance business would be to make it larger and more profitable.

As a citizen, you may understandably find climate change keeping you up nights. As a homeowner in a low-lying area, you may wish to consider moving. But when you are thinking only as a shareholder of a major insurer, climate change should not be on your list of worries.

The Annual Meeting

Charlie and I have finally decided to enter the 21st Century. Our annual meeting this year will be webcast worldwide in its entirety. To view the meeting, simply go to https://finance.yahoo.com/brklivestream at 9 a.m. Central Daylight Time on Saturday, April 30th. The Yahoo! webcast will begin with a half hour of interviews with managers, directors and shareholders. Then, at 9:30, Charlie and I will commence answering questions.

This new arrangement will serve two purposes. First, it may level off or modestly decrease attendance at the meeting. Last year's record of more than 40,000 attendees strained our capacity. In addition to quickly filling the CenturyLink Center's main arena, we packed its overflow rooms and then spilled into two large meeting rooms at the adjoining Omaha Hilton. All major hotels were sold out notwithstanding Airbnb's stepped-up presence. Airbnb was especially helpful for those visitors on limited budgets.

Our second reason for initiating a webcast is more important. Charlie is 92, and I am 85. If we were partners with you in a small business, and were charged with running the place, you would want to look in occasionally to make sure we hadn't drifted off into la-la land. Shareholders, in contrast, should not need to come to Omaha to monitor how we look and sound. (In making your evaluation, be kind: Allow for the fact that we didn't look that impressive when we were at our best.)

Viewers can also observe our life-prolonging diet. During the meeting, Charlie and I will each consume enough Coke, See's fudge and See's peanut brittle to satisfy the weekly caloric needs of an NFL lineman. Long ago we discovered a fundamental truth: There's nothing like eating carrots and broccoli when you're *really* hungry – and want to stay that way.

Shareholders planning to attend the meeting should come at 7 a.m. when the doors open at CenturyLink Center and *start shopping*. Carrie Sova will again be in charge of the festivities. She had her second child late last month, but that did not slow her down. Carrie is unflappable, ingenious and expert at bringing out the best in those who work with her. She is aided by hundreds of Berkshire employees from around the country and by our entire home office crew as well, all of them pitching in to make the weekend fun and informative for our owners.

Last year we increased the number of hours available for shopping at the CenturyLink. Sales skyrocketed – so, naturally, we will stay with the new schedule. On Friday, April 29th you can shop between noon and 5 p.m., and on Saturday exhibits and stores will be open from 7 a.m. until 4:30 p.m.

On Saturday morning, we will have our fifth International Newspaper Tossing Challenge. Our target will again be a Clayton Home porch, located precisely 35 feet from the throwing line. When I was a teenager – in my one brief flirtation with honest labor – I delivered about 500,000 papers. So I think I'm pretty good at this game. Challenge me! Humiliate me! Knock me down a peg! The papers will run 36 to 42 pages, and you must fold them yourself (no rubber bands allowed).

The competition begins at 7:15, when contestants will make preliminary tosses. The eight throws judged most accurate – four made by contestants 12 or under, and four made by the older set – will compete against me at 7:45. The young challengers will each receive a prize. But the older ones will have to beat me to take anything home.

And be sure to check out the Clayton home itself. It can be purchased for $78,900, fully installed on land you provide. In past years, we've made many sales on the meeting day. Kevin Clayton will be on hand with his order book.

At 8:30 a.m., a new Berkshire movie will be shown. An hour later, we will start the question-and-answer period, which (including a break for lunch at CenturyLink's stands) will last until 3:30 p.m. After a short recess, Charlie and I will convene the annual meeting at 3:45 p.m. This business session typically lasts only a half hour or so and can safely be skipped by those craving a little last-minute shopping.

Your venue for shopping will be the 194,300-square-foot hall that adjoins the meeting and in which products from dozens of Berkshire subsidiaries will be for sale. Say hello to the many Berkshire managers who will be captaining their exhibits. And be sure to view the terrific BNSF railroad layout that salutes all of our subsidiaries. Your children (and you!) will be enchanted with it.

We will have a new and very special exhibit in the hall this year: a full-size model of the world's largest aircraft engine, for which Precision Castparts makes many key components. The real engines weigh about 20,000 pounds and are ten feet in diameter and 22 feet in length. The bisected model at the meeting will give you a good look at many PCC components that help power your flights.

Brooks, our running-shoe company, will again have a special commemorative shoe to offer at the meeting. After you purchase a pair, wear them on Sunday at our fourth annual "Berkshire 5K," an 8 a.m. race starting at the CenturyLink. Full details for participating will be included in the Visitor's Guide that will be sent to you with your meeting credentials. Entrants in the race will find themselves running alongside many of Berkshire's managers, directors and associates. (Charlie and I, however, will sleep in; the fudge and peanut brittle take their toll.) Participation in the 5K grows every year. Help us set another record.

A GEICO booth in the shopping area will be staffed by a number of the company's top counselors from around the country. Stop by for a quote. In most cases, GEICO will be able to give you a shareholder discount (usually 8%). This special offer is permitted by 44 of the 51 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another discount, such as that available to certain groups.) Bring the details of your existing insurance and check out our price. We can save many of you real money. Spend the savings on our other products.

Be sure to visit the Bookworm. It will carry about 35 books and DVDs, among them a couple of new titles. Andy Kilpatrick will introduce (and be glad to sign) the latest edition of his all-encompassing coverage of Berkshire. It's 1,304 pages and weighs 9.8 pounds. (My blurb for the book: "Ridiculously skimpy.") Check out Peter Bevelin's new book as well. Peter has long been a keen observer of Berkshire.

We will also have a new, 20-page-longer edition of Berkshire's 50-year commemorative book that at last year's meeting sold 12,000 copies. Since then, Carrie and I have uncovered additional material that we find fascinating, such as some very personal letters sent by Grover Cleveland to Edward Butler, his friend and the then-publisher of *The Buffalo News*. Nothing from the original edition has been changed or eliminated, and the price remains $20. Charlie and I will jointly sign 100 copies that will be randomly placed among the 5,000 available for sale at the meeting.

My friend, Phil Beuth, has written *Limping on Water*, an autobiography that chronicles his life at Capital Cities Communications and tells you a lot about its leaders, Tom Murphy and Dan Burke. These two were the best managerial duo – both in *what* they accomplished and *how* they did it – that Charlie and I ever witnessed. Much of what you become in life depends on whom you choose to admire and copy. Start with Tom Murphy, and you'll never need a second exemplar.

Finally, Jeremy Miller has written *Warren Buffett's Ground Rules*, a book that will debut at the annual meeting. Mr. Miller has done a superb job of researching and dissecting the operation of Buffett Partnership Ltd. and of explaining how Berkshire's culture has evolved from its BPL origin. If you are fascinated by investment theory and practice, you will enjoy this book.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to both the meeting and other events. Airlines have sometimes jacked up prices for the Berkshire weekend. If you are coming from far away, compare the cost of flying to Kansas City vs. Omaha. The drive between the two cities is about 2½ hours, and it may be that Kansas City can save you significant money, particularly if you had planned to rent a car in Omaha. The savings for a couple could run to $1,000 or more. Spend that money with us.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. Last year in the week encompassing the meeting, the store did a record $44,239,493 of business. If you repeat that figure to a retailer, he is not going to believe you. (An average week for NFM's Omaha store – the highest-volume home furnishings store in the United States except for our new Dallas store – is about $9 million.)

To obtain the Berkshire discount at NFM, you must make your purchases between Tuesday, April 26th and Monday, May 2nd inclusive, and also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. During "Berkshire Weekend" NFM will be open from 10 a.m. to 9 p.m. Monday through Friday, 10 a.m. to 9:30 p.m. on Saturday and 10 a.m. to 8 p.m. on Sunday. From 5:30 p.m. to 8 p.m. on Saturday, NFM is hosting a picnic to which you are all invited.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 9 p.m. on Friday, April 29th. The second, the main gala, will be held on Sunday, May 1st, from 9 a.m. to 4 p.m. On Saturday, we will remain open until 6 p.m. During last year's Friday-Sunday stretch, the store wrote a sales ticket every 15 seconds that it was open.

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 25th through Saturday, May 7th. During that period, please identify yourself as a shareholder either by presenting your meeting credential or a brokerage statement showing you own our stock.

On Sunday, in the mall outside of Borsheims, Norman Beck, a remarkable magician from Dallas, will bewilder onlookers. On the upper level, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play bridge with our shareholders on Sunday afternoon. I will join them and hope to have Ajit and Charlie there also.

My friend, Ariel Hsing, will be in the mall as well on Sunday, taking on challengers at table tennis. I met Ariel when she was nine and even then I was unable to score a point against her. Now, she's a junior at Princeton, having already represented the United States in the 2012 Olympics. If you don't mind embarrassing yourself, test your skills against her, beginning at 1 p.m. Bill Gates and I will lead off and try to soften her up.

Gorat's will again be open exclusively for Berkshire shareholders on Sunday, May 1st, serving from 1 p.m. until 10 p.m. To make a reservation at Gorat's, call 402-551-3733 on April 1st (*but not before*). As for my other favorite restaurant, Piccolo's, I'm sad to report it closed.

We will again have the same three financial journalists lead the question-and-answer period at the meeting, asking Charlie and me questions that shareholders have submitted to them by e-mail. The journalists and their e-mail addresses are: Carol Loomis, the preeminent business journalist of her time, who may be e-mailed at loomisbrk@gmail.com; Becky Quick, of CNBC, at BerkshireQuestions@cnbc.com; and Andrew Ross Sorkin, of The New York Times, at arsorkin@nytimes.com.

From the questions submitted, each journalist will choose the six he or she decides are the most interesting and important. The journalists have told me your question has the best chance of being selected if you keep it concise, avoid sending it in at the last moment, make it Berkshire-related and include no more than two questions in any e-mail you send them. (In your e-mail, let the journalist know if you would like your name mentioned if your question is asked.)

An accompanying set of questions will be asked by three analysts who follow Berkshire. This year the insurance specialist will be Cliff Gallant of Nomura Securities. Questions that deal with our non-insurance operations will come from Jonathan Brandt of Ruane, Cunniff & Goldfarb and Gregg Warren of Morningstar. Our hope is that the analysts and journalists will ask questions that add to our owners' understanding and knowledge of their investment.

Neither Charlie nor I will get so much as a clue about the questions headed our way. Some will be tough, for sure, and that's the way we like it. Multi-part questions aren't allowed; we want to give as many questioners as possible a shot at us.

All told we expect at least 54 questions, which will allow for six from each analyst and journalist and for 18 from the audience. (Last year we had 64 in total.) The questioners from the audience will be chosen by means of 11 drawings that will take place at 8:15 a.m. on the morning of the annual meeting. Each of the 11 microphones installed in the arena and main overflow room will host, so to speak, a drawing.

While I'm on the subject of our owners' gaining knowledge, let me remind you that Charlie and I believe all shareholders should simultaneously have access to new information that Berkshire releases and, if possible, should also have adequate time to digest and analyze it before any trading takes place. That's why we try to issue financial data late on Fridays or early on Saturdays and why our annual meeting is always held on a Saturday. We do not follow the common practice of talking one-on-one with large institutional investors or analysts, treating them instead as we do all other shareholders. There is no one more important to us than the shareholder of limited means who trusts us with a substantial portion of his savings.

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For good reason, I regularly extol the accomplishments of our operating managers. They are truly All-Stars who run their businesses as if they were the only asset owned by their families. I also believe the mindset of our managers to be as shareholder-oriented as can be found in the universe of large publicly-owned companies. Most of our managers have no financial need to work. The joy of hitting business "home runs" means as much to them as their paycheck.

Equally important, however, are the 24 men and women who work with me at our corporate office. This group efficiently deals with a multitude of SEC and other regulatory requirements, files a 30,400-page Federal income tax return – that's up 6,000 pages from the prior year! – oversees the filing of 3,530 state tax returns, responds to countless shareholder and media inquiries, gets out the annual report, prepares for the country's largest annual meeting, coordinates the Board's activities, fact-checks this letter – and the list goes on and on.

They handle all of these business tasks cheerfully and with unbelievable efficiency, making my life easy and pleasant. Their efforts go beyond activities strictly related to Berkshire: Last year, for example, they dealt with the 40 universities (selected from 200 applicants) who sent students to Omaha for a Q&A day with me. They also handle all kinds of requests that I receive, arrange my travel, and even get me hamburgers and french fries (smothered in Heinz ketchup, of course) for lunch. No CEO has it better; I truly do feel like tap dancing to work every day. In fact, my job becomes more fun every year.

In 2015, Berkshire's revenues increased by $16 billion. Look carefully, however, at the two pictures on the facing page. The top one is from last year's report and shows the entire Berkshire home-office crew at our Christmas lunch. Below that photo is this year's Christmas photo portraying the *same* 25 people identically positioned. In 2015, no one joined us, no one left. And the odds are good that you will see a photo of the same 25 next year.

Can you imagine another very large company – we employ 361,270 people worldwide – enjoying that kind of employment stability at headquarters? At Berkshire we have hired some wonderful people – and they have stayed with us. Moreover, no one is hired unless he or she is truly needed. That's why you've never read about "restructuring" charges at Berkshire.

On April 30th, come to Omaha – the cradle of capitalism – and meet my gang. They are the best.

February 27, 2016

Warren E. Buffett
Chairman of the Board



Front Row – Becki Amick, Sharon Heck, Melissa Hawk, Jalayna Busse, Warren Buffett, Angie Wells, Alisa Krueger, Deb Ray, Carrie Sova, Ellen Schmidt **Back Row –** Tracy Britt Cool, Jennifer Tselentis, Ted Weschler, Joanne Manhart, Bob Reeson, Todd Combs, Dan Jaksich, Debbie Bosanek, Mark Sisley, Marc Hamburg, Kerby Ham, Mark Millard, Allyson Ballard, Stacy Gottschalk, Tiffany Vokt



Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire	in Per-Share Market Value of Berkshire	in S&P 500 with Dividends Included
1965	23.8	49.5	10.0
1966	20.3	(3.4)	(11.7)
1967	11.0	13.3	30.9
1968	19.0	77.8	11.0
1969	16.2	19.4	(8.4)
1970	12.0	(4.6)	3.9
1971	16.4	80.5	14.6
1972	21.7	8.1	18.9
1973	4.7	(2.5)	(14.8)
1974	5.5	(48.7)	(26.4)
1975	21.9	2.5	37.2
1976	59.3	129.3	23.6
1977	31.9	46.8	(7.4)
1978	24.0	14.5	6.4
1979	35.7	102.5	18.2
1980	19.3	32.8	32.3
1981	31.4	31.8	(5.0)
1982	40.0	38.4	21.4
1983	32.3	69.0	22.4
1984	13.6	(2.7)	6.1
1985	48.2	93.7	31.6
1986	26.1	14.2	18.6
1987	19.5	4.6	5.1
1988	20.1	59.3	16.6
1989	44.4	84.6	31.7
1990	7.4	(23.1)	(3.1)
1991	39.6	35.6	30.5
1992	20.3	29.8	7.6
1993	14.3	38.9	10.1
1994	13.9	25.0	1.3
1995	43.1	57.4	37.6
1996	31.8	6.2	23.0
1997	34.1	34.9	33.4
1998	48.3	52.2	28.6
1999	0.5	(19.9)	21.0
2000	6.5	26.6	(9.1)
2001	(6.2)	6.5	(11.9)
2002	10.0	(3.8)	(22.1)
2003	21.0	15.8	28.7
2004	10.5	4.3	10.9
2005	6.4	0.8	4.9
2006	18.4	24.1	15.8
2007	11.0	28.7	5.5
2008	(9.6)	(31.8)	(37.0)
2009	19.8	2.7	26.5
2010	13.0	21.4	15.1
2011	4.6	(4.7)	2.1
2012	14.4	16.8	16.0
2013	18.2	32.7	32.4
2014	8.3	27.0	13.7
2015	6.4	(12.5)	1.4
2016	10.7	23.4	12.0
Compounded Annual Gain – 1965-2016	19.0%	20.8%	9.7%
Overall Gain – 1964-2016	884,319%	1,972,595%	12,717%

Notes: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31. Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported. The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Berkshire's gain in net worth during 2016 was $27.5 billion, which increased the per-share book value of both our Class A and Class B stock by 10.7%. Over the last 52 years (that is, since present management took over), per-share book value has grown from $19 to $172,108, a rate of 19% compounded annually.*

During the first half of those years, Berkshire's net worth was roughly equal to the number that really counts: the intrinsic value of the business. The similarity of the two figures existed then because most of our resources were deployed in marketable securities that were regularly revalued to their quoted prices (less the tax that would be incurred if they were to be sold). In Wall Street parlance, our balance sheet was then in very large part "marked to market."

By the early 1990s, however, our focus was changing to the outright ownership of businesses, a shift that materially diminished the relevance of balance sheet figures. That disconnect occurred because the accounting rules (commonly referred to as "GAAP") that apply to companies we control differ in important ways from those used to value marketable securities. Specifically, the accounting for *businesses* we own requires that the carrying value of "losers" be written down when their failures become apparent. "Winners," conversely, are *never* revalued upwards.

We've experienced both outcomes: As is the case in marriage, business acquisitions often deliver surprises *after* the "I do's." I've made some dumb purchases, paying far too much for the economic goodwill of companies we acquired. That later led to goodwill write-offs and to consequent reductions in Berkshire's book value. We've also had some winners among the businesses we've purchased – a few of the winners very big – but have not written those up by a penny.

We have no quarrel with the asymmetrical accounting that applies here. But, over time, it necessarily widens the gap between Berkshire's intrinsic value and its book value. Today, the large – and growing – unrecorded gains at our winners produce an intrinsic value for Berkshire's shares that *far* exceeds their book value. The overage is truly huge in our property/casualty insurance business and significant also in many other operations.

Over time, stock prices gravitate toward intrinsic value. That's what has happened at Berkshire, a fact explaining why the company's 52-year market-price gain – shown on the facing page – materially exceeds its book-value gain.

* All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/1500th of those shown for A.

What We Hope to Accomplish

Charlie Munger, Berkshire's Vice Chairman and my partner, and I expect Berkshire's *normalized* earning power per share to increase every year. *Actual* earnings, of course, will sometimes decline because of periodic weakness in the U.S. economy. In addition, insurance mega-catastrophes or other industry-specific events may occasionally reduce earnings at Berkshire, even when most American businesses are doing well.

It's our job, though, to over time deliver significant growth, bumpy or not. After all, as stewards of *your* capital, Berkshire directors have opted to retain all earnings. Indeed, in both 2015 and 2016 Berkshire ranked first among American businesses in the dollar volume of earnings retained, in each year reinvesting many billions of dollars more than did the runner-up. Those reinvested dollars must earn their keep.

Some years, the gains in underlying earning power we achieve will be minor; very occasionally, the cash register will ring loud. Charlie and I have no magic plan to add earnings except to dream big and to be prepared mentally and financially to act fast when opportunities present themselves. Every decade or so, dark clouds will fill the economic skies, and they will briefly rain gold. When downpours of that sort occur, it's imperative that we rush outdoors carrying washtubs, not teaspoons. And that we will do.

I earlier described our gradual shift from a company obtaining most of its gains from investment activities to one that grows in value by owning businesses. Launching that transition, we took baby steps – making small acquisitions whose impact on Berkshire's profits was dwarfed by our gains from marketable securities. Despite that cautious approach, I made one particularly egregious error, acquiring Dexter Shoe for $434 million in 1993. Dexter's value promptly went to zero. The story gets worse: I used stock for the purchase, giving the sellers 25,203 shares of Berkshire that at yearend 2016 were worth more than $6 billion.

That wreck was followed by three key happenings – two positive, one negative – that set us firmly on our present course. At the beginning of 1996, we acquired the half of GEICO we didn't already own, a cash transaction that changed our holding from a portfolio investment into a wholly-owned operating business. GEICO, with its almost unlimited potential, quickly became the centerpiece around which we built what I believe is now the world's premier property/casualty business.

Unfortunately, I followed the GEICO purchase by foolishly using Berkshire stock – a *boatload* of stock – to buy General Reinsurance in late 1998. After some early problems, General Re has become a fine insurance operation that we prize. It was, nevertheless, a terrible mistake on my part to issue 272,200 shares of Berkshire in buying General Re, an act that increased our outstanding shares by a whopping 21.8%. My error caused Berkshire shareholders to give far more than they received (a practice that – despite the Biblical endorsement – is far from blessed when you are buying businesses).

Early in 2000, I atoned for that folly by buying 76% (since grown to 90%) of MidAmerican Energy, a brilliantly-managed utility business that has delivered us many large opportunities to make profitable and socially-useful investments. The MidAmerican *cash* purchase – I was learning – firmly launched us on our present course of (1) continuing to build our insurance operation; (2) energetically acquiring large and diversified non-insurance businesses and (3) largely making our deals from internally-generated cash. (Today, I would rather prep for a colonoscopy than issue Berkshire shares.)

Our portfolio of bonds and stocks, de-emphasized though it is, has continued in the post-1998 period to grow and to deliver us hefty capital gains, interest, and dividends. Those portfolio earnings have provided us major help in financing the purchase of businesses. Though unconventional, Berkshire's two-pronged approach to capital allocation gives us a real edge.

Here's our financial record since 1999, when the redirection of our business began in earnest. During the 18-year period covered, Berkshire's outstanding shares grew by only 8.3%, with most of the increase occurring when we purchased BNSF. That, I'm happy to say, was one issuance of stock that made good sense.

After-Tax Earnings
(in billions of dollars)

Year	Operations (1)	Capital Gains (2)	Year	Operations (1)	Capital Gains (2)
1999	0.67	0.89	2008	9.64	(4.65)
2000	0.94	2.39	2009	7.57	0.49
2001	(0.13)	0.92	2010	11.09	1.87
2002	3.72	0.57	2011	10.78	(0.52)
2003	5.42	2.73	2012	12.60	2.23
2004	5.05	2.26	2013	15.14	4.34
2005	5.00	3.53	2014	16.55	3.32
2006	9.31	1.71	2015	17.36	6.73
2007	9.63	3.58	2016	17.57	6.50

(1) Including interest and dividends from investments, but *excluding* capital gains or losses.

(2) In very large part, this tabulation includes only *realized* capital gains or losses. Unrealized gains and losses are also included, however, when GAAP requires that treatment.

Our expectation is that investment gains will continue to be substantial – though totally random as to timing – and that these will supply significant funds for business purchases. Concurrently, Berkshire's superb corps of operating CEOs will focus on increasing earnings at the individual businesses they manage, sometimes helping them to grow by making bolt-on acquisitions. By our avoiding the issuance of Berkshire stock, any improvement in earnings will translate into equivalent per-share gains.

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Our efforts to materially increase the normalized earnings of Berkshire will be aided – as they have been throughout our managerial tenure – by America's economic dynamism. One word sums up our country's achievements: miraculous. From a standing start 240 years ago – a span of time less than triple my days on earth – Americans have combined human ingenuity, a market system, a tide of talented and ambitious immigrants, and the rule of law to deliver abundance beyond any dreams of our forefathers.

You need not be an economist to understand how well our system has worked. Just look around you. See the 75 million owner-occupied homes, the bountiful farmland, the 260 million vehicles, the hyper-productive factories, the great medical centers, the talent-filled universities, you name it – they all represent a net gain for Americans from the barren lands, primitive structures and meager output of 1776. Starting from scratch, America has amassed wealth totaling $90 trillion.

It's true, of course, that American owners of homes, autos and other assets have often borrowed heavily to finance their purchases. If an owner defaults, however, his or her asset does not disappear or lose its usefulness. Rather, ownership customarily passes to an American lending institution that then disposes of it to an American buyer. Our *nation's* wealth remains intact. As Gertrude Stein put it, "Money is always there, but the pockets change."

Above all, it's our market system – an economic traffic cop ably directing capital, brains and labor – that has created America's abundance. This system has also been the primary factor in allocating rewards. Governmental redirection, through federal, state and local taxation, has in addition determined the distribution of a significant portion of the bounty.

America has, for example, decided that those citizens in their productive years should help both the old and the young. Such forms of aid – sometimes enshrined as "entitlements" – are generally thought of as applying to the aged. But don't forget that four million American babies are born each year with an entitlement to a public education. That societal commitment, largely financed at the local level, costs about $150,000 per baby. The annual cost totals more than $600 billion, which is about 3½% of GDP.

However our wealth may be divided, the mind-boggling amounts you see around you belong almost exclusively to Americans. Foreigners, of course, own or have claims on a modest portion of our wealth. Those holdings, however, are of little importance to our national balance sheet: *Our* citizens own assets abroad that are roughly comparable in value.

Early Americans, we should emphasize, were neither smarter nor more hard working than those people who toiled century after century before them. But those venturesome pioneers crafted a system that unleashed human potential, and their successors built upon it.

This economic creation will deliver increasing wealth to our progeny far into the future. Yes, the build-up of wealth will be interrupted for short periods from time to time. It will not, however, be stopped. I'll repeat what I've both said in the past and expect to say in future years: Babies born in America today are the luckiest crop in history.

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America's economic achievements have led to staggering profits for stockholders. During the 20th century the Dow-Jones Industrials advanced from 66 to 11,497, a 17,320% capital gain that was materially boosted by steadily increasing dividends. The trend continues: By yearend 2016, the index had advanced a further 72%, to 19,763.

American business – and consequently a basket of stocks – is virtually certain to be worth far more in the years ahead. Innovation, productivity gains, entrepreneurial spirit and an abundance of capital will see to that. Ever-present naysayers may prosper by marketing their gloomy forecasts. But heaven help them if they act on the nonsense they peddle.

Many companies, of course, will fall behind, and some will fail. Winnowing of that sort is a product of market dynamism. Moreover, the years ahead will occasionally deliver major market declines – even panics – that will affect virtually all stocks. No one can tell you when these traumas will occur – not me, not Charlie, not economists, not the media. Meg McConnell of the New York Fed aptly described the reality of panics: "We spend a lot of time looking for systemic risk; in truth, however, it tends to find us."

During such scary periods, you should never forget two things: First, widespread fear is your *friend* as an investor, because it serves up bargain purchases. Second, *personal* fear is your enemy. It will also be unwarranted. Investors who avoid high and unnecessary costs and simply sit for an extended period with a collection of large, conservatively-financed American businesses will almost certainly do well.

As for Berkshire, our size precludes a *brilliant* result: Prospective returns fall as assets increase. Nonetheless, Berkshire's collection of good businesses, along with the company's impregnable financial strength and owner-oriented culture, should deliver decent results. We won't be satisfied with less.

Share Repurchases

In the investment world, discussions about share repurchases often become heated. But I'd suggest that participants in this debate take a deep breath: Assessing the desirability of repurchases isn't that complicated.

From the standpoint of exiting shareholders, repurchases are always a plus. Though the day-to-day impact of these purchases is usually minuscule, it's always better for a seller to have an additional buyer in the market.

For continuing shareholders, however, repurchases only make sense if the shares are bought at a price below intrinsic value. When that rule is followed, the remaining shares experience an immediate gain in intrinsic value. Consider a simple analogy: If there are three equal partners in a business worth $3,000 and one is bought out by the partnership for $900, each of the remaining partners realizes an immediate gain of $50. If the exiting partner is paid $1,100, however, the continuing partners each suffer a loss of $50. The same math applies with corporations and their shareholders. Ergo, the question of whether a repurchase action is value-enhancing or value-destroying for continuing shareholders is entirely purchase-price dependent.

It is puzzling, therefore, that corporate repurchase announcements almost never refer to a price above which repurchases will be eschewed. That certainly wouldn't be the case if a management was buying an outside business. There, price would always factor into a buy-or-pass decision.

When CEOs or boards are buying a small part of their own company, though, they all too often seem oblivious to price. Would they behave similarly if they were managing a private company with just a few owners and were evaluating the wisdom of buying out one of them? Of course not.

It is important to remember that there are two occasions in which repurchases should not take place, even if the company's shares are underpriced. One is when a business both needs all its available money to protect or expand its own operations and is also uncomfortable adding further debt. Here, the internal need for funds should take priority. This exception assumes, of course, that the business has a decent future awaiting it after the needed expenditures are made.

The second exception, less common, materializes when a business acquisition (or some other investment opportunity) offers far greater value than do the undervalued shares of the potential repurchaser. Long ago, Berkshire itself often had to choose between these alternatives. At our present size, the issue is far less likely to arise.

My suggestion: Before even discussing repurchases, a CEO and his or her Board should stand, join hands and in unison declare, "What is smart at one price is stupid at another."

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To recap Berkshire's own repurchase policy: I am authorized to buy large amounts of Berkshire shares at 120% or less of book value because our Board has concluded that purchases at that level clearly bring an instant and material benefit to continuing shareholders. By our estimate, a 120%-of-book price is a significant discount to Berkshire's intrinsic value, a spread that is appropriate because calculations of intrinsic value can't be precise.

The authorization given me does not mean that we will "prop" our stock's price at the 120% ratio. If that level is reached, we will instead attempt to blend a desire to make meaningful purchases at a value-creating price with a related goal of not over-influencing the market.

To date, repurchasing our shares has proved hard to do. That may well be because we have been clear in describing our repurchase policy and thereby have signaled our view that Berkshire's intrinsic value is significantly higher than 120% of book value. If so, that's fine. Charlie and I prefer to see Berkshire shares sell in a fairly narrow range around intrinsic value, neither wishing them to sell at an unwarranted high price – it's no fun having owners who are disappointed with their purchases – nor one too low. Furthermore, our buying out "partners" at a discount is not a particularly gratifying way of making money. Still, market circumstances could create a situation in which repurchases would benefit both continuing and exiting shareholders. If so, we will be ready to act.

One final observation for this section: As the subject of repurchases has come to a boil, some people have come close to calling them un-American – characterizing them as corporate misdeeds that divert funds needed for productive endeavors. That simply isn't the case: Both American corporations and private investors are today awash in funds looking to be sensibly deployed. I'm not aware of *any* enticing project that in recent years has died for lack of capital. (Call us if you have a candidate.)

Insurance

Let's now look at Berkshire's various businesses, starting with our most important sector, insurance. The property/casualty ("P/C") branch of that industry has been the engine that has propelled our growth since 1967, the year we acquired National Indemnity and its sister company, National Fire & Marine, for $8.6 million. Today, National Indemnity is the largest property/casualty company in the world as measured by net worth.

One reason we were attracted to the P/C business was its financial characteristics: P/C insurers receive premiums upfront and pay claims later. In extreme cases, such as claims arising from exposure to asbestos, payments can stretch over many decades. This collect-now, pay-later model leaves P/C companies holding large sums – money we call "float" – that will eventually go to others. Meanwhile, insurers get to invest this float for their own benefit. Though individual policies and claims come and go, the amount of float an insurer holds usually remains fairly stable in relation to premium volume. Consequently, as our business grows, so does our float. And *how* it has grown, as the following table shows:

Year	*Float (in millions)*
1970	$ 39
1980	237
1990	1,632
2000	27,871
2010	65,832
2016	91,577

We recently wrote a huge policy that increased float to more than $100 billion. Beyond that one-time boost, float at GEICO and several of our specialized operations is almost certain to grow at a good clip. National Indemnity's reinsurance division, however, is party to a number of large run-off contracts whose float is certain to drift downward.

We may in time experience a decline in float. If so, the decline will be *very* gradual – at the outside no more than 3% in any year. The nature of our insurance contracts is such that we can *never* be subject to immediate or near-term demands for sums that are of significance to our cash resources. This structure is by design and is a key component in the unequaled financial strength of our insurance companies. It will *never* be compromised.

If our premiums exceed the total of our expenses and eventual losses, our insurance operation registers an underwriting profit that adds to the investment income the float produces. When such a profit is earned, we enjoy the use of free money – and, better yet, get *paid* for holding it.

Unfortunately, the wish of all insurers to achieve this happy result creates intense competition, so vigorous indeed that it sometimes causes the P/C industry as a whole to operate at a significant underwriting *loss*. This loss, in effect, is what the industry pays to hold its float. Competitive dynamics almost guarantee that the insurance industry, despite the float income all its companies enjoy, will continue its dismal record of earning subnormal returns on tangible net worth as compared to other American businesses.

This outcome is made more certain by the dramatically lower interest rates that now exist throughout the world. The investment portfolios of almost all P/C companies – though *not* those of Berkshire – are heavily concentrated in bonds. As these high-yielding legacy investments mature and are replaced by bonds yielding a pittance, earnings from float will steadily fall. For that reason, and others as well, it's a good bet that industry results over the next ten years will fall short of those recorded in the past decade, particularly in the case of companies that specialize in reinsurance.

Nevertheless, I very much like our own prospects. Berkshire's unrivaled financial strength allows us far more flexibility in investing than that generally available to P/C companies. The many alternatives available to us are always an advantage; occasionally, they offer us major opportunities. When others are constrained, our choices expand.

Moreover, our P/C companies have an excellent underwriting record. Berkshire has now operated at an underwriting profit for 14 consecutive years, our pre-tax gain for the period having totaled $28 billion. That record is no accident: Disciplined risk evaluation is the daily focus of *all* of our insurance managers, who know that while float is valuable, its benefits can be drowned by poor underwriting results. All insurers give that message lip service. At Berkshire it is a religion, Old Testament style.

So how does our float affect intrinsic value? When Berkshire's *book* value is calculated, the *full* amount of our float is deducted as a *liability*, just as if we had to pay it out tomorrow and could not replenish it. But to think of float as a typical liability is a major mistake. It should instead be viewed as a revolving fund. Daily, we pay old claims and related expenses – a huge $27 billion to more than six million claimants in 2016 – and that reduces float. Just as surely, we each day write new business that will soon generate its own claims, adding to float.

If our revolving float is both costless and long-enduring, which I believe it will be, the true value of this liability is *dramatically* less than the accounting liability. Owing $1 that in effect will never leave the premises – because new business is almost certain to deliver a substitute – is worlds different from owing $1 that will go out the door tomorrow and not be replaced. The two types of liabilities, however, are treated as equals under GAAP.

A partial offset to this overstated liability is a $15.5 billion "goodwill" asset that we incurred in buying our insurance companies and that is included in our book-value figure. In very large part, this goodwill represents the price we paid for the float-generating capabilities of our insurance operations. The cost of the goodwill, however, has *no* bearing on its true value. For example, if an insurance company sustains large and prolonged underwriting losses, *any* goodwill asset carried on the books should be deemed valueless, whatever its original cost.

Fortunately, that does not describe Berkshire. Charlie and I believe the true economic value of our insurance goodwill – what we would happily pay for float *of similar quality* were we to purchase an insurance operation possessing it – to be *far* in excess of its historic carrying value. Indeed, almost the entire $15.5 billion we carry for goodwill in our insurance business was already on our books in 2000 when float was $28 billion. Yet we have subsequently increased our float by $64 billion, a gain that in no way is reflected in our book value. This unrecorded asset is one reason – a huge reason – why we believe Berkshire's intrinsic business value far exceeds its book value.

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Berkshire's attractive insurance economics exist only because we have some terrific managers running disciplined operations that in most cases possess hard-to-replicate business models. Let me tell you about the major units.

First by float size is the Berkshire Hathaway Reinsurance Group, managed by Ajit Jain. Ajit insures risks that no one else has the desire or the capital to take on. His operation combines capacity, speed, decisiveness and, most important, brains in a manner unique in the insurance business. Yet he never exposes Berkshire to risks that are inappropriate in relation to our resources.

Indeed, Berkshire is *far* more conservative in avoiding risk than most large insurers. For example, if the insurance industry should experience a $250 billion loss from some mega-catastrophe – a loss about triple anything it has ever experienced – Berkshire as a whole would likely record a large profit for the year. Our many streams of non-insurance earnings would see to that. Additionally, we would remain awash in cash and be eager to write business in an insurance market that might well be in disarray. Meanwhile, other major insurers and reinsurers would be swimming in red ink, if not facing insolvency.

When Ajit entered Berkshire's office on a Saturday in 1986, he did not have a day's experience in the insurance business. Nevertheless, Mike Goldberg, then our manager of insurance, handed him the keys to our small and struggling reinsurance business. With that move, Mike achieved sainthood: Since then, Ajit has created tens of billions of value for Berkshire shareholders. If there were ever to be another Ajit and you could swap me for him, *don't hesitate*. Make the trade!

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We have another reinsurance powerhouse in General Re, managed until recently by Tad Montross. After 39 years at General Re, Tad retired in 2016. Tad was a class act in every way and we owe him a ton of thanks. Kara Raiguel, who has worked with Ajit for 16 years, is now CEO of General Re.

At bottom, a sound insurance operation needs to adhere to four disciplines. It must (1) understand *all* exposures that might cause a policy to incur losses; (2) conservatively assess the likelihood of any exposure actually causing a loss and the probable cost if it does; (3) set a premium that, on average, will deliver a profit after both prospective loss costs and operating expenses are covered; and (4) be willing to walk away if the appropriate premium can't be obtained.

Many insurers pass the first three tests and flunk the fourth. They simply can't turn their back on business that is being eagerly written by their competitors. That old line, "The other guy is doing it, so we must as well," spells trouble in any business, but in none more so than insurance. Tad never listened to that nonsensical excuse for sloppy underwriting, and neither will Kara.

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Finally, there is GEICO, the company that set my heart afire 66 years ago (and for which the flame still burns). GEICO is managed by Tony Nicely, who joined the company at 18 and completed 55 years of service in 2016.

Tony became CEO of GEICO in 1993, and since then the company has been flying. There is *no* better manager than Tony, who brings his combination of brilliance, dedication *and* soundness to the job. (The latter quality is essential to sustained success. As Charlie says, it's great to have a manager with a 160 IQ – unless he thinks it's 180.) Like Ajit, Tony has created tens of billions of value for Berkshire.

On my initial visit to GEICO in 1951, I was blown away by the huge cost advantage the company enjoyed over the giants of the industry. It was clear to me that GEICO would succeed because it *deserved* to succeed. The company's annual sales were then $8 million; In 2016, GEICO did that much business every three hours of the year.

Auto insurance is a major expenditure for most families. Savings matter to them – and only a low-cost operation can deliver those. In fact, at least 40% of the people reading this letter can save money by insuring with GEICO. So stop reading – right now! – and go to geico.com or call 800-847-7536.

GEICO's low costs create a moat – an *enduring* one – that competitors are unable to cross. As a result, the company gobbles up market share year after year, ending 2016 with about 12% of industry volume. That's up from 2.5% in 1995, the year Berkshire acquired control of GEICO. Employment, meanwhile, grew from 8,575 to 36,085.

GEICO's growth accelerated dramatically during the second half of 2016. Loss costs throughout the auto-insurance industry had been increasing at an unexpected pace and some competitors lost their enthusiasm for taking on new customers. GEICO's reaction to the profit squeeze, however, was to *accelerate* its new-business efforts. We like to make hay while the sun *sets*, knowing that it will surely rise again.

GEICO continues on a roll as I send you this letter. When insurance prices increase, people shop more. And when they shop, GEICO wins.

Have you called yet? (800-847-7536 or go to geico.com)

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In addition to our three major insurance operations, we own a collection of smaller companies that primarily write commercial coverages. In aggregate, these companies are a large, growing and valuable operation that consistently delivers an underwriting profit, usually one much superior to that reported by their competitors. Over the past 14 years, this group has earned $4.7 billion from underwriting – about 13% of its premium volume – while increasing its float from $943 million to $11.6 billion.

Less than three years ago, we formed Berkshire Hathaway Specialty Insurance ("BHSI"), which is included in this grouping. Our first decision was to put Peter Eastwood in charge, a move that proved to be a home run: We expected significant losses in the early years while Peter built the personnel and infrastructure needed for a world-wide operation. Instead, he and his crew delivered significant underwriting profits throughout the start-up period. BHSI's volume increased 40% in 2016, reaching $1.3 billion. It's clear to me that the company is destined to become one of the world's leading P/C insurers.

Here's a recap of pre-tax underwriting earnings and float by division:

	Underwriting Profit		*Yearend Float*	
			(in millions)	
Insurance Operations	*2016*	*2015*	*2016*	*2015*
BH Reinsurance	$ 822	$ 421	$ 45,081	$ 44,108
General Re	190	132	17,699	18,560
GEICO	462	460	17,148	15,148
Other Primary	657	824	11,649	9,906
	$2,131	$1,837	$ 91,577	$ 87,722

Berkshire's great managers, premier financial strength and a range of business models protected by wide moats amount to something unique in the insurance world. This assemblage of strengths is a huge asset for Berkshire shareholders that time will only make more valuable.

Regulated, Capital-Intensive Businesses

Our BNSF railroad and Berkshire Hathaway Energy ("BHE"), our 90%-owned utility business, share important characteristics that distinguish them from Berkshire's other activities. Consequently, we assign them their own section in this letter and split out their combined financial statistics in our GAAP balance sheet and income statement. These two very major companies accounted for 33% of Berkshire's after-tax operating earnings last year.

A key characteristic of both companies is their huge investment in very long-lived, regulated assets, with these partially funded by large amounts of long-term debt that is *not* guaranteed by Berkshire. Our credit is in fact not needed because each company has earning power that even under terrible economic conditions would far exceed its interest requirements. Last year, for example, in a disappointing year for railroads, BNSF's interest coverage was more than 6:1. (Our definition of coverage is the ratio of earnings before interest and taxes to interest, *not* EBITDA/interest, a commonly-used measure we view as seriously flawed.)

At BHE, meanwhile, two factors ensure the company's ability to service its debt under all circumstances. The first is common to all utilities: recession-resistant earnings, which result from these companies offering an essential service for which demand is remarkably steady. The second is enjoyed by few other utilities: an ever-widening diversity of earnings streams, which shield BHE from being seriously harmed by any single regulatory body. These many sources of profit, supplemented by the inherent advantage of the company being owned by a strong parent, have allowed BHE and its utility subsidiaries to significantly lower their cost of debt. That economic fact benefits both us *and* our customers.

All told, BHE and BNSF invested $8.9 billion in plant and equipment last year, a massive commitment to their segments of America's infrastructure. We relish making such investments as long as they promise reasonable returns – and, on that front, we put a large amount of trust in future regulation.

Our confidence is justified both by our past experience and by the knowledge that society will forever need huge investments in both transportation and energy. It is in the self-interest of governments to treat capital providers in a manner that will ensure the continued flow of funds to essential projects. It is concomitantly in our self-interest to conduct our operations in a way that earns the approval of our regulators and the people they represent.

Low prices are a powerful way to keep these constituencies happy. In Iowa, BHE's average retail rate is 7.1¢ per KWH. Alliant, the other major electric utility in the state, averages 9.9¢. Here are the comparable industry figures for adjacent states: Nebraska 9.0¢, Missouri 9.5¢, Illinois 9.2¢, Minnesota 10.0¢. The national average is 10.3¢. We have promised Iowans that our base rates will not increase until 2029 *at the earliest*. Our rock-bottom prices add up to real money for paycheck-strapped customers.

At BNSF, price comparisons between major railroads are far more difficult to make because of significant differences in both their mix of cargo and the average distance the load is carried. To supply a *very* crude measure, however, our revenue per ton-mile was 3¢ last year, while shipping costs for customers of the other four major U.S.-based railroads ranged from 4¢ to 5¢.

Both BHE and BNSF have been leaders in pursuing planet-friendly technology. In wind generation, no state comes close to rivaling Iowa, where last year the megawatt-hours we generated from wind equaled 55% of all megawatt-hours sold to our Iowa retail customers. New wind projects that are underway will take that figure to 89% by 2020.

Bargain-basement electric rates carry second-order benefits with them. Iowa has attracted large high-tech installations, both because of its low prices for electricity (which data centers use in huge quantities) and because most tech CEOs are enthusiastic about using renewable energy. When it comes to wind energy, Iowa is the Saudi Arabia of America.

BNSF, like other Class I railroads, uses only a single gallon of diesel fuel to move a ton of freight almost 500 miles. Those economics make railroads four times as fuel-efficient as trucks! Furthermore, railroads alleviate highway congestion – and the taxpayer-funded maintenance expenditures that come with heavier traffic – in a major way.

All told, BHE and BNSF own assets that are of major importance to our country as well as to shareholders of Berkshire. Here are the key financial figures for both:

BNSF	*Earnings (in millions)*		
	2016	*2015*	*2014*
Revenues	$ 19,829	$ 21,967	$ 23,239
Operating expenses	13,144	14,264	16,237
Operating earnings before interest and taxes	6,685	7,703	7,002
Interest (net)	992	928	833
Income taxes	2,124	2,527	2,300
Net earnings	$ 3,569	$ 4,248	$ 3,869

Berkshire Hathaway Energy (90% owned)	*Earnings (in millions)*		
	2016	*2015*	*2014*
U.K. utilities	$ 367	$ 460	$ 527
Iowa utility	392	292	270
Nevada utilities	559	586	549
PacifiCorp (primarily Oregon and Utah)	1,105	1,026	1,010
Gas pipelines (Northern Natural and Kern River)	413	401	379
Canadian transmission utility	147	170	16
Renewable projects	157	175	194
HomeServices	225	191	139
Other (net)	73	49	54
Operating earnings before corporate interest and taxes	3,438	3,350	3,138
Interest	465	499	427
Income taxes	431	481	616
Net earnings	$ 2,542	$ 2,370	$ 2,095
Earnings applicable to Berkshire	$ 2,287	$ 2,132	$ 1,882

HomeServices may appear out of place in the above table. But it came with our purchase of MidAmerican (now BHE) in 1999 – and we are lucky that it did.

HomeServices owns 38 realty companies with more than 29,000 agents who operate in 28 states. Last year it purchased four realtors, including Houlihan Lawrence, the leader in New York's Westchester County (in a transaction that closed shortly after yearend).

In real estate parlance, representing either a buyer or a seller is called a "side," with the representation of both counting as two sides. Last year, our *owned* realtors participated in 244,000 sides, totaling $86 billion in volume.

HomeServices also *franchises* many operations throughout the country that use our name. We like both aspects of the real estate business and expect to acquire many realtors and franchisees during the next decade.

Manufacturing, Service and Retailing Operations

Our manufacturing, service and retailing operations sell products ranging from lollipops to jet airplanes. Let's look, though, at a summary balance sheet and earnings statement for the entire group.

Balance Sheet 12/31/16 (in millions)

Assets		*Liabilities and Equity*	
Cash and equivalents	$ 8,073	Notes payable	$ 2,054
Accounts and notes receivable	11,183	Other current liabilities	12,464
Inventory	15,727	Total current liabilities	14,518
Other current assets	1,039		
Total current assets	36,022		
		Deferred taxes	12,044
Goodwill and other intangibles	71,473	Term debt and other liabilities	10,943
Fixed assets	18,915	Non-controlling interests	579
Other assets	3,183	Berkshire equity	91,509
	$129,593		$129,593

Earnings Statement (in millions)

	2016	*2015*	*2014*
Revenues	$120,059	$107,825	$97,689
Operating expenses	111,383	100,607	90,788
Interest expense	214	103	109
Pre-tax earnings	8,462	7,115	6,792
Income taxes and non-controlling interests	2,831	2,432	2,324
Net earnings	$ 5,631	$ 4,683	$ 4,468

Included in this financial summary are 44 businesses that report directly to headquarters. But some of these companies, in turn, have many individual operations under their umbrella. For example, Marmon has 175 separate business units, serving widely disparate markets, and Berkshire Hathaway Automotive owns 83 dealerships, operating in nine states.

This collection of businesses is truly a motley crew. Some operations, measured by earnings on unleveraged net *tangible* assets, enjoy terrific returns that, in a couple of instances, exceed 100%. Most are solid businesses generating good returns in the area of 12% to 20%.

A few, however – these are serious blunders I made in my job of capital allocation – produce very poor returns. In most cases, I was wrong when I originally sized up the economic characteristics of these companies or the industries in which they operate, and we are now paying the price for my misjudgments. In a couple of instances, I stumbled in assessing either the fidelity or ability of incumbent managers or ones I later put in place. I will commit more errors; you can count on that. Fortunately, Charlie – never bashful – is around to say "no" to my worst ideas.

Viewed as a single entity, the companies in the manufacturing, service and retailing group are an excellent business. They employed an average of $24 billion of net tangible assets during 2016 and, despite their holding large quantities of excess cash and carrying very little debt, earned 24% after-tax on that capital.

Of course, a business with terrific economics can be a bad investment if it is bought at too high a price. We have paid substantial premiums to net tangible assets for most of our businesses, a cost that is reflected in the large figure we show on our balance sheet for goodwill and other intangibles. Overall, however, we are getting a decent return on the capital we have deployed in this sector. Absent a recession, earnings from the group will likely grow in 2017, in part because Duracell and Precision Castparts (both bought in 2016) will for the first time contribute a full year's earnings to this group. Additionally, Duracell incurred significant transitional costs in 2016 that will not recur.

We have far too many companies in this group to comment on them individually. Moreover, their competitors – both current and potential – read this report. In a few of our businesses, we might be disadvantaged if outsiders knew our numbers. Therefore, in certain of our operations that are not of a size material to an evaluation of Berkshire, we only disclose what is required. You can nevertheless find a good bit of detail about many of our operations on pages 90 - 94. Be aware, though, that it's the growth of the Berkshire forest that counts. It would be foolish to focus over-intently on any single tree.

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For several years I have told you that the income and expense data shown in this section does not conform to GAAP. I have explained that this divergence occurs primarily because of GAAP-ordered rules regarding purchase-accounting adjustments that require the full amortization of certain intangibles over periods averaging about 19 years. In our opinion, most of those amortization "expenses" are not truly an economic cost. Our goal in diverging from GAAP in this section is to present the figures to you in a manner reflecting the way in which Charlie and I view and analyze them.

On page 54 we itemize $15.4 billion of intangibles that are yet to be amortized by annual charges to earnings. (More intangibles to be amortized will be created as we make new acquisitions.) On that page, we show that the 2016 amortization charge to GAAP earnings was $1.5 billion, up $384 million from 2015. My judgment is that about 20% of the 2016 charge is a "real" cost.

Eventually amortization charges fully write off the related asset. When that happens – most often at the 15-year mark – the GAAP earnings we report will increase without any true improvement in the underlying economics of Berkshire's business. (My gift to my successor.)

Now that I've described a GAAP expense that I believe to be overstated, let me move on to a less pleasant distortion produced by accounting rules. The subject this time is GAAP-prescribed depreciation charges, which are necessarily based on historical cost. Yet in certain cases, those charges materially *understate* true economic costs. Countless words were written about this phenomenon in the 1970s and early 1980s, when inflation was rampant. As inflation subsided – thanks to heroic actions by Paul Volcker – the inadequacy of depreciation charges became less of an issue. But the problem still prevails, *big time*, in the railroad industry, where current costs for many depreciable items far outstrip historical costs. The inevitable result is that reported earnings throughout the railroad industry are considerably higher than true economic earnings.

At BNSF, to get down to particulars, our GAAP depreciation charge last year was $2.1 billion. But were we to spend that sum and no more annually, our railroad would soon deteriorate and become less competitive. The reality is that – *simply to hold our own* – we need to spend far more than the cost we show for depreciation. Moreover, a wide disparity will prevail for decades.

All that said, Charlie and I love our railroad, which was one of our better purchases.

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Too many managements – and the number seems to grow every year – are looking for any means to report, *and indeed feature*, "adjusted earnings" that are higher than their company's GAAP earnings. There are many ways for practitioners to perform this legerdemain. Two of their favorites are the omission of "restructuring costs" and "stock-based compensation" as expenses.

Charlie and I *want* managements, *in their commentary*, to describe unusual items – good or bad – that affect the GAAP numbers. After all, the reason we look at these numbers of the past is to make estimates of the future. But a management that regularly attempts to wave away very real costs by highlighting "adjusted per-share earnings" makes us nervous. That's because bad behavior is contagious: CEOs who overtly look for ways to report high numbers tend to foster a culture in which subordinates strive to be "helpful" as well. Goals like that can lead, for example, to insurers underestimating their loss reserves, a practice that has destroyed many industry participants.

Charlie and I cringe when we hear analysts talk admiringly about managements who always "make the numbers." In truth, business is too unpredictable for the numbers always to be met. Inevitably, surprises occur. When they do, a CEO whose focus is centered on Wall Street will be tempted to *make up* the numbers.

Let's get back to the two favorites of "don't-count-this" managers, starting with "restructuring." Berkshire, I would say, has been restructuring from the first day we took over in 1965. Owning only a northern textile business then gave us no other choice. And today a fair amount of restructuring occurs every year at Berkshire. That's because there are always things that need to change in our hundreds of businesses. Last year, as I mentioned earlier, we spent significant sums getting Duracell in shape for the decades ahead.

We have never, however, singled out restructuring charges and told you to ignore them in estimating our normal earning power. If there were to be some truly major expenses in a single year, I would, of course, mention it in my commentary. Indeed, when there is a total rebasing of a business, such as occurred when Kraft and Heinz merged, it is imperative that for several years the huge one-time costs of rationalizing the combined operations be explained clearly to owners. That's precisely what the CEO of Kraft Heinz has done, in a manner approved by the company's directors (who include me). But, to tell owners year after year, "Don't count this," when management is simply making business adjustments that are necessary, is misleading. And too many analysts and journalists fall for this baloney.

To say "stock-based compensation" is not an expense is even more cavalier. CEOs who go down that road are, in effect, saying to shareholders, "If you pay me a bundle in options or restricted stock, don't worry about its effect on earnings. I'll 'adjust' it away."

To explore this maneuver further, join me for a moment in a visit to a make-believe accounting laboratory whose sole mission is to juice Berkshire's *reported* earnings. Imaginative technicians await us, eager to show their stuff.

Listen carefully while I tell these enablers that stock-based compensation usually comprises at least 20% of total compensation for the top three or four executives at most large companies. Pay attention, too, as I explain that Berkshire has several hundred such executives at its subsidiaries and pays them similar amounts, but uses only cash to do so. I further confess that, lacking imagination, I have counted *all* of these payments to Berkshire's executives as an expense.

My accounting minions suppress a giggle and immediately point out that 20% of what is paid these Berkshire managers is tantamount to "cash paid in lieu of stock-based compensation" and is therefore not a "true" expense. So – presto! – Berkshire, too, can have "adjusted" earnings.

Back to reality: If CEOs want to leave out stock-based compensation in reporting earnings, they should be required to affirm *to their owners* one of two propositions: why items of value used to pay employees are not a cost or why a payroll cost should be excluded when calculating earnings.

During the accounting nonsense that flourished during the 1960s, the story was told of a CEO who, as his company revved up to go public, asked prospective auditors, "What is two plus two?" The answer that won the assignment, of course, was, "What number do you have in mind?"

Finance and Financial Products

Our three leasing and rental operations are conducted by CORT (furniture), XTRA (semi-trailers), and Marmon (primarily tank cars but also freight cars, intermodal tank containers and cranes). Each is the leader in its field.

We also include Clayton Homes in this section. This company receives most of its revenue from the sale of manufactured homes, but derives the bulk of its *earnings* from its large mortgage portfolio. Last year, Clayton became America's largest home builder, delivering 42,075 units that accounted for 5% of all new American homes. (In fairness, other large builders do far more *dollar* volume than Clayton because they sell site-built homes that command much higher prices.)

In 2015, Clayton branched out, purchasing its first site-builder. Two similar acquisitions followed in 2016, and more will come. Site-built houses are expected to amount to 3% or so of Clayton's unit sales in 2017 and will likely deliver about 14% of its dollar volume.

Even so, Clayton's focus will always be manufactured homes, which account for about 70% of new American homes costing less than $150,000. Clayton manufactures close to one-half of the total. That is a far cry from Clayton's position in 2003 when Berkshire purchased the company. It then ranked third in the industry in units sold and employed 6,731 people. Now, when its new acquisitions are included, the employee count is 14,677. And that number will increase in the future.

Clayton's earnings in recent years have materially benefited from extraordinarily low interest rates. The company's mortgage loans to home-buyers are at fixed-rates and for long terms (averaging 25 years at inception). But Clayton's own borrowings are short-term credits that re-price frequently. When rates plunge, Clayton's earnings from its portfolio greatly increase. We normally would shun that kind of lend-long, borrow-short approach, which can cause major problems for financial institutions. As a whole, however, Berkshire is always asset-sensitive, meaning that higher short-term rates will benefit our *consolidated* earnings, even as they hurt at Clayton.

Last year Clayton had to foreclose on 8,304 manufactured-housing mortgages, about 2.5% of its total portfolio. Customer demographics help explain that percentage. Clayton's customers are usually lower-income families with mediocre credit scores; many are supported by jobs that will be at risk in any recession; many, similarly, have financial profiles that will be damaged by divorce or death to an extent that would not be typical for a high-income family. Those risks that our customers face are partly mitigated because almost all have a strong desire to own a home and because they enjoy reasonable monthly payments that average only $587, *including* the cost of insurance and property taxes.

Clayton also has long had programs that help borrowers through difficulties. The two most popular are loan extensions and payment forgiveness. Last year about 11,000 borrowers received extensions, and 3,800 had $3.4 million of scheduled payments permanently canceled by Clayton. The company does not earn interest or fees when these loss-mitigation moves are made. Our experience is that 93% of borrowers helped through these programs in the last two years now remain in their homes. Since we lose significant sums on foreclosures – losses last year totaled $150 million – our assistance programs end up helping Clayton as well as its borrowers.

Clayton and Berkshire have been a wonderful partnership. Kevin Clayton came to us with a best-in-class management group and culture. Berkshire, in turn, provided unmatched staying power when the manufactured-home industry fell apart during the Great Recession. (As other lenders to the industry vanished, Clayton supplied credit not only to its own dealers but also to dealers who sold the products of its competitors.) At Berkshire, we never count on synergies when we acquire companies. Truly important ones, however, surfaced after our purchase of Clayton.

Marmon's railcar business experienced a major slowdown in demand last year, which will cause earnings to decline in 2017. Fleet utilization was 91% in December, down from 97% a year earlier, with the drop particularly severe at the large fleet we purchased from General Electric in 2015. Marmon's crane and container rentals have weakened as well.

Big swings in railcar demand have occurred in the past and they will continue. Nevertheless, we very much like this business and expect decent returns on equity capital over the years. Tank cars are Marmon's specialty. People often associate tank cars with the transportation of crude oil; in fact, they are essential to a great variety of shippers.

Over time, we expect to expand our railcar operation. Meanwhile, Marmon is making a number of bolt-on acquisitions whose results are included in the Manufacturing, Service and Retailing section.

Here's the pre-tax earnings recap for our finance-related companies:

	2016	*2015*	*2014*
		(in millions)	
Berkadia (our 50% share)	$ 91	$ 74	$ 122
Clayton	744	706	558
CORT	60	55	49
Marmon – Containers and Cranes	126	192	238
Marmon – Railcars	654	546	442
XTRA	179	172	147
Net financial income*	276	341	283
	$ 2,130	$ 2,086	$ 1,839

* Excludes capital gains or losses

Investments

Below we list our fifteen common stock investments that at yearend had the largest market value. We exclude our Kraft Heinz holding because Berkshire is part of a control group and therefore must account for this investment on the "equity" method. The 325,442,152 shares Berkshire owns of Kraft Heinz are carried on our balance sheet at a GAAP figure of $15.3 billion and had a yearend market value of $28.4 billion. Our cost basis for the shares is $9.8 billion.

			12/31/16	
*Shares**	*Company*	*Percentage of Company Owned*	*Cost***	*Market*
			(in millions)	
151,610,700	American Express Company	16.8	$ 1,287	$ 11,231
61,242,652	Apple Inc.	1.1	6,747	7,093
6,789,054	Charter Communications, Inc.	2.5	1,210	1,955
400,000,000	The Coca-Cola Company	9.3	1,299	16,584
54,934,718	Delta Airlines Inc.	7.5	2,299	2,702
11,390,582	The Goldman Sachs Group, Inc.	2.9	654	2,727
81,232,303	International Business Machines Corp.	8.5	13,815	13,484
24,669,778	Moody's Corporation	12.9	248	2,326
74,587,892	Phillips 66	14.4	5,841	6,445
22,169,930	Sanofi	1.7	1,692	1,791
43,203,775	Southwest Airlines Co.	7.0	1,757	2,153
101,859,335	U.S. Bancorp	6.0	3,239	5,233
26,620,184	United Continental Holdings Inc.	8.4	1,477	1,940
43,387,980	USG Corp.	29.7	836	1,253
500,000,000	Wells Fargo & Company	10.0	12,730	27,555
	Others		10,697	17,560
	Total Common Stocks Carried at Market		$ 65,828	$ 122,032

* Excludes shares held by pension funds of Berkshire subsidiaries.

** This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-downs that have been required under GAAP rules.

Some of the stocks in the table are the responsibility of either Todd Combs or Ted Weschler, who work with me in managing Berkshire's investments. Each, *independently*, manages more than $10 billion; I usually learn about decisions they have made by looking at monthly trade sheets. Included in the $21 billion that the two manage is about $7.6 billion of pension trust assets of certain Berkshire subsidiaries. As noted, pension investments are not included in the preceding tabulation of Berkshire holdings.

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Excluded from the table – *but important* – is our ownership of $5 billion of preferred stock issued by Bank of America. This stock, which pays us $300 million per year, also carries with it a valuable warrant allowing Berkshire to purchase 700 million common shares of Bank of America for $5 billion at any time before September 2, 2021. At yearend, that privilege would have delivered us a profit of $10.5 billion. If it wishes, Berkshire can use its preferred shares to satisfy the $5 billion cost of exercising the warrant.

If the dividend rate on Bank of America common stock – now 30 cents annually – should rise above 44 cents before 2021, we would anticipate making a cashless exchange of our preferred into common. If the common dividend remains below 44 cents, it is highly probable that we will exercise the warrant immediately before it expires.

Many of our investees, including Bank of America, have been repurchasing shares, some quite aggressively. We very much like this behavior because we believe the repurchased shares have in most cases been underpriced. (Undervaluation, after all, is why we own these positions.) When a company grows and outstanding shares shrink, good things happen for shareholders.

* * * * * * * * * * * *

It's important for you to understand that 95% of the $86 billion of "cash and equivalents" (which in my mind includes U.S. Treasury Bills) shown on our balance sheet are held by entities in the United States and, consequently, is not subject to any repatriation tax. Moreover, repatriation of the remaining funds would trigger only minor taxes because much of that money has been earned in countries that themselves impose meaningful corporate taxes. Those payments become an offset to U.S. tax when money is brought home.

These explanations are important because many cash-rich American companies hold a large portion of their funds in jurisdictions imposing very low taxes. Such companies hope – and may well be proved right – that the tax levied for bringing these funds to America will soon be materially reduced. In the meantime, these companies are limited as to how they can use that cash. In other words, off-shore cash is simply not worth as much as cash held at home.

Berkshire has a partial offset to the favorable geographical location of its cash, which is that much of it is held in our insurance subsidiaries. Though we have many alternatives for investing this cash, we do not have the unlimited choices that we would enjoy if the cash were held by the parent company, Berkshire. We *do* have an ability annually to distribute large amounts of cash from our insurers to the parent – though here, too, there are limits. Overall, cash held at our insurers is a very valuable asset, but one slightly less valuable to us than is cash held at the parent level.

* * * * * * * * * * * *

Sometimes the comments of shareholders or media imply that we will own certain stocks "forever." It is true that we own some stocks that I have no intention of selling for as far as the eye can see (and we're talking 20/20 vision). But we have made no *commitment* that Berkshire will hold *any* of its marketable securities forever.

Confusion about this point may have resulted from a too-casual reading of Economic Principle 11 on pages 110 - 111, which has been included in our annual reports since 1983. That principle covers *controlled businesses*, not marketable securities. This year I've added a final sentence to #11 to ensure that our owners understand that we regard any marketable security as available for sale, however unlikely such a sale now seems.

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Before we leave this investment section, a few educational words about dividends and taxes: Berkshire, like most corporations, nets considerably *more* from a dollar of dividends than it reaps from a dollar of capital gains. That will probably surprise those of our shareholders who are accustomed to thinking of capital gains as the route to tax-favored returns.

But here's the *corporate* math. Every $1 of capital gains that a corporation realizes carries with it 35 cents of federal income tax (and often state income tax as well). The tax on dividends received from *domestic* corporations, however, is consistently lower, though rates vary depending on the status of the recipient.

For a non-insurance company – which describes Berkshire Hathaway, the parent – the federal tax rate is effectively 10½ cents per $1 of dividends received. Furthermore, a non-insurance company that owns more than 20% of an investee owes taxes of only 7 cents per $1 of dividends. That rate applies, for example, to the substantial dividends we receive from our 27% ownership of Kraft Heinz, all of it held by the parent company. (The rationale for the low corporate taxes on dividends is that the dividend-paying investee has already paid its own corporate tax on the earnings being distributed.)

Berkshire's insurance subsidiaries pay a tax rate on dividends that is somewhat higher than that applying to non-insurance companies, though the rate is still well below the 35% hitting capital gains. Property/casualty companies owe about 14% in taxes on most dividends they receive. Their tax rate falls, though, to about 11% if they own more than 20% of a U.S.-based investee.

And that's our tax lesson for today.

"The Bet" (or how your money finds its way to Wall Street)

In this section, you will encounter, early on, the story of an investment bet I made nine years ago and, next, some strong opinions I have about investing. As a starter, though, I want to briefly describe Long Bets, a unique establishment that played a role in the bet.

Long Bets was seeded by Amazon's Jeff Bezos and operates as a non-profit organization that administers just what you'd guess: long-term bets. To participate, "proposers" post a proposition at Longbets.org that will be proved right or wrong at a distant date. They then wait for a contrary-minded party to take the other side of the bet. When a "doubter" steps forward, each side names a charity that will be the beneficiary if its side wins; parks its wager with Long Bets; and posts a short essay defending its position on the Long Bets website. When the bet is concluded, Long Bets pays off the winning charity.

Here are examples of what you will find on Long Bets' very interesting site:

In 2002, entrepreneur Mitch Kapor asserted that "By 2029 no computer – or 'machine intelligence' – will have passed the Turing Test," which deals with whether a computer can successfully impersonate a human being. Inventor Ray Kurzweil took the opposing view. Each backed up his opinion with $10,000. I don't know who will win this bet, but I will confidently wager that no computer will ever replicate Charlie.

That same year, Craig Mundie of Microsoft asserted that pilotless planes would routinely fly passengers by 2030, while Eric Schmidt of Google argued otherwise. The stakes were $1,000 each. To ease any heartburn Eric might be experiencing from his outsized exposure, I recently offered to take a piece of his action. He promptly laid off $500 with me. (I like his assumption that I'll be around in 2030 to contribute my payment, should we lose.)

Now, to my bet and its history. In Berkshire's 2005 annual report, I argued that active investment management by professionals – in aggregate – would over a period of years underperform the returns achieved by rank amateurs who simply sat still. I explained that the massive fees levied by a variety of "helpers" would leave their clients – *again in aggregate* – worse off than if the amateurs simply invested in an unmanaged low-cost index fund. (See pages 114 - 115 for a reprint of the argument as I originally stated it in the 2005 report.)

Subsequently, I publicly offered to wager $500,000 that no investment pro could select a set of at least five hedge funds – wildly-popular and high-fee investing vehicles – that would over an extended period match the performance of an unmanaged S&P-500 index fund charging only token fees. I suggested a ten-year bet and named a low-cost Vanguard S&P fund as my contender. I then sat back and waited expectantly for a parade of fund managers – who could include their own fund as one of the five – to come forth and defend their occupation. After all, these managers urged *others* to bet billions on their abilities. Why should they fear putting a little of their own money on the line?

What followed was the sound of silence. Though there are thousands of professional investment managers who have amassed staggering fortunes by touting their stock-selecting prowess, only one man – Ted Seides – stepped up to my challenge. Ted was a co-manager of Protégé Partners, an asset manager that had raised money from limited partners to form a fund-of-funds – in other words, a fund that invests in multiple hedge funds.

I hadn't known Ted before our wager, but I like him and admire his willingness to put his money where his mouth was. He has been both straight-forward with me and meticulous in supplying all the data that both he and I have needed to monitor the bet.

For Protégé Partners' side of our ten-year bet, Ted picked five funds-of-funds whose results were to be averaged and compared against my Vanguard S&P index fund. The five he selected had invested their money in more than 100 hedge funds, which meant that the overall performance of the funds-of-funds would not be distorted by the good or poor results of a single manager.

Each fund-of-funds, of course, operated with a layer of fees that sat above the fees charged by the hedge funds in which it had invested. In this doubling-up arrangement, the larger fees were levied by the underlying hedge funds; each of the fund-of-funds imposed an additional fee for its presumed skills in selecting hedge-fund managers.

Here are the results for the first nine years of the bet – figures leaving no doubt that Girls Inc. of Omaha, the charitable beneficiary I designated to get any bet winnings I earned, will be the organization eagerly opening the mail next January.

Year	Fund of Funds A	Fund of Funds B	Fund of Funds C	Fund of Funds D	Fund of Funds E	S&P Index Fund
2008	-16.5%	-22.3%	-21.3%	-29.3%	-30.1%	-37.0%
2009	11.3%	14.5%	21.4%	16.5%	16.8%	26.6%
2010	5.9%	6.8%	13.3%	4.9%	11.9%	15.1%
2011	-6.3%	-1.3%	5.9%	-6.3%	-2.8%	2.1%
2012	3.4%	9.6%	5.7%	6.2%	9.1%	16.0%
2013	10.5%	15.2%	8.8%	14.2%	14.4%	32.3%
2014	4.7%	4.0%	18.9%	0.7%	-2.1%	13.6%
2015	1.6%	2.5%	5.4%	1.4%	-5.0%	1.4%
2016	-2.9%	1.7%	-1.4%	2.5%	4.4%	11.9%
Gain to Date	8.7%	28.3%	62.8%	2.9%	7.5%	85.4%

Footnote: Under my agreement with Protégé Partners, the names of these funds-of-funds have never been publicly disclosed. I, however, see their annual audits.

The compounded annual increase to date for the index fund is 7.1%, which is a return that could easily prove typical for the stock market over time. That's an important fact: A particularly weak nine years for the market over the lifetime of this bet would have probably helped the relative performance of the hedge funds, because many hold large "short" positions. Conversely, nine years of exceptionally high returns from stocks would have provided a tailwind for index funds.

Instead we operated in what I would call a "neutral" environment. In it, the five funds-of-funds delivered, through 2016, an average of only 2.2%, compounded annually. That means $1 million invested in those funds would have gained $220,000. The index fund would meanwhile have gained $854,000.

Bear in mind that every one of the 100-plus managers of the underlying hedge funds had a huge financial incentive to do his or her best. Moreover, the five funds-of-funds managers that Ted selected were similarly incentivized to select the best hedge-fund managers possible because the five were entitled to performance fees based on the results of the underlying funds.

I'm certain that in almost all cases the managers at both levels were honest and intelligent people. But the results for their investors were dismal – *really* dismal. And, alas, the huge fixed fees charged by all of the funds and funds-of-funds involved – fees that were totally unwarranted by performance – were such that their managers were showered with compensation over the nine years that have passed. As Gordon Gekko might have put it: "Fees never sleep."

The underlying hedge-fund managers in our bet received payments from their limited partners that likely averaged a bit under the prevailing hedge-fund standard of "2 and 20," meaning a 2% annual fixed fee, payable even when losses are huge, and 20% of profits with no clawback (if good years were followed by bad ones). Under this lopsided arrangement, a hedge fund operator's ability to simply pile up assets under management has made many of these managers extraordinarily rich, even as their investments have performed poorly.

Still, we're not through with fees. Remember, there were the fund-of-funds managers to be fed as well. These managers received an additional fixed amount that was usually set at 1% of assets. Then, despite the terrible overall record of the five funds-of-funds, some experienced a few good years and collected "performance" fees. Consequently, I estimate that over the nine-year period roughly 60% – gulp! – of *all* gains achieved by the five funds-of-funds were diverted to the two levels of managers. That was their misbegotten reward for accomplishing something far short of what their many hundreds of limited partners could have effortlessly – and with virtually *no* cost – achieved on their own.

In my opinion, the disappointing results for hedge-fund investors that this bet exposed are almost certain to recur in the future. I laid out my reasons for that belief in a statement that was posted on the Long Bets website when the bet commenced (and that is still posted there). Here is what I asserted:

> Over a ten-year period commencing on January 1, 2008, and ending on December 31, 2017, the S&P 500 will outperform a portfolio of funds of hedge funds, when performance is measured on a basis net of fees, costs and expenses.
>
> A lot of very smart people set out to do better than average in securities markets. Call them active investors.
>
> Their opposites, passive investors, will by definition do about average. In aggregate their positions will more or less approximate those of an index fund. Therefore, the balance of the universe—the active investors—must do about average as well. However, these investors will incur far greater costs. So, on balance, their aggregate results after these costs will be worse than those of the passive investors.
>
> Costs skyrocket when large annual fees, large performance fees, and active trading costs are all added to the active investor's equation. Funds of hedge funds accentuate this cost problem because their fees are superimposed on the large fees charged by the hedge funds in which the funds of funds are invested.
>
> A number of smart people are involved in running hedge funds. But to a great extent their efforts are self-neutralizing, and their IQ will not overcome the costs they impose on investors. Investors, on average and over time, will do better with a low-cost index fund than with a group of funds of funds.

So that was my argument – and now let me put it into a simple equation. If Group A (active investors) and Group B (do-nothing investors) comprise the total investing universe, and B is destined to achieve average results before costs, so, too, must A. Whichever group has the lower costs will win. (The academic in me requires me to mention that there is a very minor point – not worth detailing – that *slightly* modifies this formulation.) And if Group A has exorbitant costs, its shortfall will be substantial.

There are, of course, some skilled individuals who are highly likely to out-perform the S&P over long stretches. In my lifetime, though, I've identified – *early on* – only ten or so professionals that I expected would accomplish this feat.

There are no doubt many hundreds of people – perhaps thousands – whom I have never met and whose abilities would equal those of the people I've identified. The job, after all, is not impossible. The problem simply is that the great majority of managers who attempt to over-perform will fail. The probability is also very high that the person soliciting your funds will not be the exception who does well. Bill Ruane – a truly wonderful human being and a man whom I identified 60 years ago as almost certain to deliver superior investment returns over the long haul – said it well: "In investment management, the progression is from the innovators to the imitators to the swarming incompetents."

Further complicating the search for the rare high-fee manager who is worth his or her pay is the fact that some investment professionals, just as some amateurs, will be lucky over short periods. If 1,000 managers make a market prediction at the beginning of a year, it's very likely that the calls of at least one will be correct for nine consecutive years. Of course, 1,000 monkeys would be just as likely to produce a seemingly all-wise prophet. But there *would* remain a difference: The lucky monkey would not find people standing in line to invest with him.

Finally, there are three connected realities that cause investing success to breed failure. First, a good record quickly attracts a torrent of money. Second, huge sums invariably act as an anchor on investment performance: What is easy with millions, struggles with billions (sob!). Third, most managers will nevertheless seek new money because of their *personal* equation – namely, the more funds they have under management, the more their fees.

These three points are hardly new ground for me: In January 1966, when I was managing $44 *million*, I wrote my limited partners: "I feel substantially greater size is more likely to harm future results than to help them. This might not be true for my own personal results, but it is likely to be true for your results. Therefore, . . . I intend to admit no additional partners to BPL. I have notified Susie that if we have any more children, it is up to her to find some other partnership for them."

The bottom line: When trillions of dollars are managed by Wall Streeters charging high fees, it will usually be the managers who reap outsized profits, not the clients. Both large and small investors should stick with low-cost index funds.

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If a statue is ever erected to honor the person who has done the most for American investors, the hands-down choice should be Jack Bogle. For decades, Jack has urged investors to invest in ultra-low-cost index funds. In his crusade, he amassed only a tiny percentage of the wealth that has typically flowed to managers who have promised their investors large rewards while delivering them nothing – or, as in our bet, *less* than nothing – of added value.

In his early years, Jack was frequently mocked by the investment-management industry. Today, however, he has the satisfaction of knowing that he helped millions of investors realize far better returns on their savings than they otherwise would have earned. He is a hero to them and to me.

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Over the years, I've often been asked for investment advice, and in the process of answering I've learned a good deal about human behavior. My regular recommendation has been a low-cost S&P 500 index fund. To their credit, my friends who possess only modest means have usually followed my suggestion.

I believe, however, that *none* of the mega-rich individuals, institutions or pension funds has followed that same advice when I've given it to them. Instead, these investors politely thank me for my thoughts and depart to listen to the siren song of a high-fee manager or, in the case of many institutions, to seek out another breed of hyper-helper called a consultant.

That professional, however, faces a problem. Can you imagine an investment consultant telling clients, year after year, to keep adding to an index fund replicating the S&P 500? That would be career suicide. Large fees flow to these hyper-helpers, however, if they recommend small managerial shifts every year or so. That advice is often delivered in esoteric gibberish that explains why fashionable investment "styles" or current economic trends make the shift appropriate.

The wealthy are accustomed to feeling that it is their lot in life to get the best food, schooling, entertainment, housing, plastic surgery, sports ticket, you name it. Their money, they feel, should buy them something superior compared to what the masses receive.

In many aspects of life, indeed, wealth does command top-grade products or services. For that reason, the financial "elites" – wealthy individuals, pension funds, college endowments and the like – have great trouble meekly signing up for a financial product or service that is available as well to people investing only a few thousand dollars. This reluctance of the rich normally prevails even though the product at issue is –on an expectancy basis – clearly the best choice. My calculation, admittedly very rough, is that the search by the elite for superior investment advice has caused it, in aggregate, to waste more than $100 billion over the past decade. Figure it out: Even a 1% fee on a few trillion dollars adds up. Of course, not every investor who put money in hedge funds ten years ago lagged S&P returns. But I believe my calculation of the aggregate shortfall is conservative.

Much of the financial damage befell pension funds for public employees. Many of these funds are woefully underfunded, in part because they have suffered a double whammy: poor investment performance accompanied by huge fees. The resulting shortfalls in their assets will for decades have to be made up by local taxpayers.

Human behavior won't change. Wealthy individuals, pension funds, endowments and the like will continue to feel they deserve something "extra" in investment advice. Those advisors who cleverly play to this expectation will get very rich. This year the magic potion may be hedge funds, next year something else. The likely result from this parade of promises is predicted in an adage: "When a person with money meets a person with experience, the one with experience ends up with the money and the one with money leaves with experience."

Long ago, a brother-in-law of mine, Homer Rogers, was a commission agent working in the Omaha stockyards. I asked him how he induced a farmer or rancher to hire him to handle the sale of their hogs or cattle to the buyers from the big four packers (Swift, Cudahy, Wilson and Armour). After all, hogs were hogs and the buyers were experts who knew to the penny how much any animal was worth. How then, I asked Homer, could any sales agent get a better result than any other?

Homer gave me a pitying look and said: "Warren, it's not how you sell 'em, it's how you tell 'em." What worked in the stockyards continues to work in Wall Street.

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And, finally, let me offer an olive branch to Wall Streeters, many of them good friends of mine. Berkshire *love*s to pay fees – even outrageous fees – to investment bankers who bring us acquisitions. Moreover, we have paid substantial sums for over-performance to our two in-house investment managers – and we hope to make even larger payments to them in the future.

To get biblical (Ephesians 3:18), I know the height and the depth and the length and the breadth of the energy flowing from that simple four-letter word – fees – when it is spoken to Wall Street. And when that energy delivers value to Berkshire, I will cheerfully write a big check.

The Annual Meeting

Last year we partnered with Yahoo to air the first-ever webcast of our annual meeting. Thanks to Andy Serwer and his Yahoo crew, the production was a success in all respects, registering 1.1 million unique visits in real-time viewing and 11.5 million more in replays (many of those, to be sure, called up by viewers interested in only certain segments of the webcast).

Berkshire's thank-you mail for initiating the webcast included many notes from three constituencies: the elderly who find travel difficult; the thrifty who find it expensive to travel to Omaha; and those who cannot attend a Saturday meeting for religious reasons.

The webcast cut attendance at last year's meeting to about 37,000 people (we can't get a precise count), which was down about 10%. Nevertheless, both Berkshire's subsidiaries and Omaha hotels and restaurants racked up huge sales. Nebraska Furniture Mart's sales broke their 2015 record volume by 3%, with the Omaha store recording one-week volume of $45.5 million.

Our Berkshire exhibitors at CenturyLink were open from noon until 5 p.m. on Friday and drew a crowd of 12,000 bargain-hunting shareholders. We will repeat those Friday shopping hours this year on May 5th. Bring money.

The annual meeting falls on May 6th and will again be webcast by Yahoo, whose web address is https://finance.yahoo.com/brklivestream. The webcast will go live at 9 a.m. Central Daylight Time. Yahoo will interview directors, managers, stockholders and celebrities before the meeting and during the lunch break. Both those interviews and meeting will be translated simultaneously into Mandarin.

For those attending the meeting in person, the doors at the CenturyLink will open at 7:00 a.m. on Saturday to facilitate shopping prior to our shareholder movie, which begins at 8:30. The question-and-answer period will start at 9:30 and run until 3:30, with a one-hour lunch break at noon. Finally, at 3:45 we will begin the formal shareholder meeting. It will run an hour or so. That is somewhat longer than usual because three proxy items are to be presented by their proponents, who will be given a reasonable amount of time to state their case.

On Saturday morning, we will have our sixth International Newspaper Tossing Challenge. Our target will again be the porch of a Clayton Home, located precisely 35 feet from the throwing line. When I was a teenager – in my one brief flirtation with honest labor – I delivered about 500,000 papers. So I think I'm pretty good at this game. Challenge me! Humiliate me! Knock me down a peg! The papers will run 36 to 42 pages, and you must fold them yourself (no rubber bands allowed). The competition will begin about 7:45, and I'll take on ten or so competitors selected a few minutes earlier by my assistant, Deb Bosanek.

Your venue for shopping will be the 194,300-square-foot hall that adjoins the meeting and in which products from dozens of our subsidiaries will be for sale. Say hello to the many Berkshire managers who will be captaining their exhibits. And be sure to view the terrific BNSF railroad layout that salutes all of our companies. Your children (and you!) will be enchanted with it.

Brooks, our running-shoe company, will again have a special commemorative shoe to offer at the meeting. After you purchase a pair, wear them on Sunday at our fourth annual "Berkshire 5K," an 8 a.m. race starting at the CenturyLink. Full details for participating will be included in the Visitor's Guide that will be sent to you with your meeting credentials. Entrants in the race will find themselves running alongside many of Berkshire's managers, directors and associates. (Charlie and I, however, will sleep in; the fudge and peanut brittle we eat throughout the Saturday meeting takes its toll.) Participation in the 5K grows every year. Help us set another record.

A GEICO booth in the shopping area will be staffed by a number of the company's top counselors from around the country. At last year's meeting, we set a record for policy sales, up 21% from 2015. I predict we will be up again this year.

So stop by for a quote. In most cases, GEICO will be able to give you a shareholder discount (usually 8%). This special offer is permitted by 44 of the 51 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another discount, such as that available to certain groups.) Bring the details of your existing insurance and check out our price. We can save many of you real money. Spend the savings on other Berkshire products.

Be sure to visit the Bookworm. This Omaha-based retailer will carry about 35 books and DVDs, among them a couple of new titles. The best book I read last year was *Shoe Dog*, by Nike's Phil Knight. Phil is a very wise, intelligent and competitive fellow who is also a gifted storyteller. The Bookworm will have piles of *Shoe Dog* as well as several investment classics by Jack Bogle.

The Bookworm will once again offer our history of the highlights (and lowlights) of Berkshire's first 50 years. Non-attendees of the meeting can find the book on eBay. Just type in: *Berkshire Hathaway Inc. Celebrating 50 years of a Profitable Partnership* (2nd Edition).

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to both the meeting and other events. Keep in mind that airlines have sometimes jacked up prices for the Berkshire weekend – though I must admit I have developed some tolerance, bordering on enthusiasm, for that practice now that Berkshire has made large investments in America's four major carriers. Nevertheless, if you are coming from far away, compare the cost of flying to Kansas City vs. Omaha. The drive between the two cities is about $2^1/_2$ hours, and it may be that Kansas City can save you significant money. The savings for a couple could run to $1,000 or more. Spend that money with us.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. To obtain the Berkshire discount at NFM, you must make your purchases between Tuesday, May 2nd and Monday, May 8th inclusive, and must also present your meeting credential. The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. During "Berkshire Weekend," NFM will be open from 10 a.m. to 9 p.m. Monday through Friday, 10 a.m. to 9:30 p.m. on Saturday and 10 a.m. to 8 p.m. on Sunday. From 5:30 p.m. to 8 p.m. on Saturday, NFM is hosting a picnic to which you are all invited.

This year we have good news for shareholders in the Kansas City and Dallas metro markets who can't attend the meeting or perhaps prefer the webcast. From May 2nd through May 8th, shareholders who present meeting credentials or other evidence of their Berkshire ownership (such as brokerage statements) to their local NFM store will receive the same discounts enjoyed by those visiting the Omaha store.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 9 p.m. on Friday, May 5th. The second, the main gala, will be held on Sunday, May 7th, from 9 a.m. to 4 p.m. On Saturday, we will remain open until 6 p.m. Remember, the more you buy, the more you save (or so my daughter tells me when we visit the store).

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, May 1st through Saturday, May 13th. During that period, please identify yourself as a shareholder either by presenting your meeting credential or a brokerage statement showing you own our stock.

On Sunday, in the mall outside of Borsheims, Norman Beck, a remarkable magician and motivational speaker from Dallas, will bewilder onlookers. On the upper level, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play with our shareholders on Sunday afternoon. If they suggest wagering on the game, change the subject. I will join them at some point and hope Ajit, Charlie and Bill Gates will do so also.

My friend, Ariel Hsing, will be in the mall as well on Sunday, taking on challengers at table tennis. I met Ariel when she was nine, and even then I was unable to score a point against her. Ariel represented the United States in the 2012 Olympics. Now, she's a senior at Princeton (after interning last summer at JPMorgan Chase). If you don't mind embarrassing yourself, test your skills against her, beginning at 1 p.m. Bill Gates did pretty well playing Ariel last year, so he may be ready to again challenge her. (My advice: Bet on Ariel.)

Gorat's will be open exclusively for Berkshire shareholders on Sunday, May 7th, serving from 1 p.m. until 10 p.m. To make a reservation at Gorat's, call 402-551-3733 on April 3rd (*but not before*). Show you are a sophisticated diner by ordering the T-bone with hash browns.

We will have the same three financial journalists lead the question-and-answer period at the meeting, asking Charlie and me questions that shareholders have submitted to them by e-mail. The journalists and their e-mail addresses are: Carol Loomis, the preeminent business journalist of her time, who may be e-mailed at loomisbrk@gmail.com; Becky Quick, of CNBC, at BerkshireQuestions@cnbc.com; and Andrew Ross Sorkin, of the New York Times, at arsorkin@nytimes.com.

From the questions submitted, each journalist will choose the six he or she decides are the most interesting and important to shareholders. The journalists have told me your question has the best chance of being selected if you keep it concise, avoid sending it in at the last moment, make it Berkshire-related and include no more than two questions in any e-mail you send them. (In your e-mail, let the journalist know if you would like your name mentioned if your question is asked.)

An accompanying set of questions will be asked by three analysts who follow Berkshire. This year the insurance specialist will be Jay Gelb of Barclays. Questions that deal with our non-insurance operations will come from Jonathan Brandt of Ruane, Cunniff & Goldfarb and Gregg Warren of Morningstar. Since what we will be conducting is a *shareholders'* meeting, our hope is that the analysts and journalists will ask questions that add to our owners' understanding and knowledge of their investment.

Neither Charlie nor I will get so much as a clue about the questions headed our way. Some will be tough, for sure, and that's the way we like it. Multi-part questions aren't allowed; we want to give as many questioners as possible a shot at us. Our goal is for you to leave the meeting knowing more about Berkshire than when you came and for you to have a good time while in Omaha.

All told, we expect at least 54 questions, which will allow for six from each analyst and journalist and for 18 from the audience. The questioners from the audience will be chosen by means of 11 drawings that will take place at 8:15 a.m. on the morning of the annual meeting. Each of the 11 microphones installed in the arena and main overflow room will host, so to speak, a drawing.

While I'm on the subject of our owners' gaining knowledge, let me remind you that Charlie and I believe all shareholders should simultaneously have access to new information that Berkshire releases and, if possible, should also have adequate time to digest and analyze it before any trading takes place. That's why we try to issue financial data late on Fridays or early on Saturdays and why our annual meeting is always held on a Saturday (a day that also eases traffic and parking problems).

We do not follow the common practice of talking one-on-one with large institutional investors or analysts, treating them instead as we do all other shareholders. There is no one more important to us than the shareholder of limited means who trusts us with a substantial portion of his or her savings. As I run the company day-to-day – and as I write this letter – that is the shareholder whose image is in my mind.

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For good reason, I regularly extol the accomplishments of our operating managers. They are truly All-Stars who run their businesses as if they were the only asset owned by their families. I also believe the mindset of our managers to be as shareholder-oriented as can be found in the universe of large publicly-owned companies. Most of our managers have no financial need to work. The joy of hitting business "home runs" means as much to them as their paycheck.

Equally important, however, are the men and women who work with me at our corporate office. This team efficiently deals with a multitude of SEC and other regulatory requirements, files a 30,450-page Federal income tax return, oversees the filing of 3,580 state tax returns, responds to countless shareholder and media inquiries, gets out the annual report, prepares for the country's largest annual meeting, coordinates the Board's activities, fact-checks this letter – and the list goes on and on.

They handle all of these business tasks cheerfully and with unbelievable efficiency, making my life easy and pleasant. Their efforts go beyond activities strictly related to Berkshire: Last year, for example, they dealt with the 40 universities (selected from 200 applicants) who sent students to Omaha for a Q&A day with me. They also handle all kinds of requests that I receive, arrange my travel, and even get me hamburgers and French fries (smothered in Heinz ketchup, of course) for lunch. In addition, they cheerfully pitch in to help Carrie Sova – our talented ringmaster at the annual meeting – deliver an interesting and entertaining weekend for our shareholders. They are proud to work for Berkshire, and I am proud of them.

I'm a lucky guy, very fortunate in being surrounded by this excellent staff, a team of highly-talented operating managers and a boardroom of very wise and experienced directors. Come to Omaha – the cradle of capitalism – on May 6th and meet the Berkshire Bunch. All of us look forward to seeing you.

February 25, 2017

Warren E. Buffett
Chairman of the Board

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire	in Per-Share Market Value of Berkshire	in S&P 500 with Dividends Included
1965	23.8	49.5	10.0
1966	20.3	(3.4)	(11.7)
1967	11.0	13.3	30.9
1968	19.0	77.8	11.0
1969	16.2	19.4	(8.4)
1970	12.0	(4.6)	3.9
1971	16.4	80.5	14.6
1972	21.7	8.1	18.9
1973	4.7	(2.5)	(14.8)
1974	5.5	(48.7)	(26.4)
1975	21.9	2.5	37.2
1976	59.3	129.3	23.6
1977	31.9	46.8	(7.4)
1978	24.0	14.5	6.4
1979	35.7	102.5	18.2
1980	19.3	32.8	32.3
1981	31.4	31.8	(5.0)
1982	40.0	38.4	21.4
1983	32.3	69.0	22.4
1984	13.6	(2.7)	6.1
1985	48.2	93.7	31.6
1986	26.1	14.2	18.6
1987	19.5	4.6	5.1
1988	20.1	59.3	16.6
1989	44.4	84.6	31.7
1990	7.4	(23.1)	(3.1)
1991	39.6	35.6	30.5
1992	20.3	29.8	7.6
1993	14.3	38.9	10.1
1994	13.9	25.0	1.3
1995	43.1	57.4	37.6
1996	31.8	6.2	23.0
1997	34.1	34.9	33.4
1998	48.3	52.2	28.6
1999	0.5	(19.9)	21.0
2000	6.5	26.6	(9.1)
2001	(6.2)	6.5	(11.9)
2002	10.0	(3.8)	(22.1)
2003	21.0	15.8	28.7
2004	10.5	4.3	10.9
2005	6.4	0.8	4.9
2006	18.4	24.1	15.8
2007	11.0	28.7	5.5
2008	(9.6)	(31.8)	(37.0)
2009	19.8	2.7	26.5
2010	13.0	21.4	15.1
2011	4.6	(4.7)	2.1
2012	14.4	16.8	16.0
2013	18.2	32.7	32.4
2014	8.3	27.0	13.7
2015	6.4	(12.5)	1.4
2016	10.7	23.4	12.0
2017	23.0	21.9	21.8
Compounded Annual Gain – 1965-2017	19.1%	20.9%	9.9%
Overall Gain – 1964-2017	1,088,029%	2,404,748%	15,508%

Note: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31. Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported. The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Berkshire's gain in net worth during 2017 was $65.3 billion, which increased the per-share book value of both our Class A and Class B stock by 23%. Over the last 53 years (that is, since present management took over), per-share book value has grown from $19 to $211,750, a rate of 19.1% compounded annually.*

The format of that opening paragraph has been standard for 30 years. But 2017 was far from standard: A large portion of our gain did *not* come from anything we accomplished at Berkshire.

The $65 billion gain is nonetheless real – rest assured of that. But only $36 billion came from Berkshire's operations. The remaining $29 billion was delivered to us in December when Congress rewrote the U.S. Tax Code. (Details of Berkshire's tax-related gain appear on page K-32 and pages K-89 – K-90.)

After stating those fiscal facts, I would prefer to turn immediately to discussing Berkshire's operations. But, in still another interruption, I must first tell you about a new accounting rule – a generally accepted accounting principle (GAAP) – that in *future* quarterly and annual reports will severely distort Berkshire's net income figures and very often mislead commentators and investors.

The new rule says that the net change in *unrealized* investment gains and losses in stocks we hold must be included in all net income figures we report to you. That requirement will produce some truly wild and capricious swings in our GAAP bottom-line. Berkshire owns $170 billion of marketable stocks (not including our shares of Kraft Heinz), and the value of these holdings can easily swing by $10 billion or more within a quarterly reporting period. Including gyrations of that magnitude in reported net income will swamp the truly important numbers that describe our operating performance. For analytical purposes, Berkshire's "bottom-line" will be useless.

The new rule compounds the communication problems we have long had in dealing with the *realized* gains (or losses) that accounting rules compel us to include in our net income. In past quarterly and annual press releases, we have regularly warned you not to pay attention to these realized gains, because they – just like our unrealized gains – fluctuate randomly.

That's largely because we sell securities when that seems the intelligent thing to do, not because we are trying to influence earnings in any way. As a result, we sometimes have reported substantial realized gains for a period when our portfolio, overall, performed poorly (or the converse).

*All per-share figures used in this report apply to Berkshire's A shares. Figures for the B shares are 1/1500th of those shown for the A shares.

With the new rule about unrealized gains exacerbating the distortion caused by the existing rules applying to realized gains, we will take pains every quarter to explain the adjustments you need in order to make sense of our numbers. But televised commentary on earnings releases is often instantaneous with their receipt, and newspaper headlines almost always focus on the year-over-year change in GAAP net income. Consequently, media reports sometimes highlight figures that unnecessarily frighten or encourage many readers or viewers.

We will attempt to alleviate this problem by continuing our practice of publishing financial reports late on Friday, well after the markets close, or early on Saturday morning. That will allow you maximum time for analysis and give investment professionals the opportunity to deliver informed commentary before markets open on Monday. Nevertheless, I expect considerable confusion among shareholders for whom accounting is a foreign language.

At Berkshire what counts most are increases in our normalized per-share earning power. That metric is what Charlie Munger, my long-time partner, and I focus on – and we hope that you do, too. Our scorecard for 2017 follows.

Acquisitions

There are four building blocks that add value to Berkshire: (1) sizable stand-alone acquisitions; (2) bolt-on acquisitions that fit with businesses we already own; (3) internal sales growth and margin improvement at our many and varied businesses; and (4) investment earnings from our huge portfolio of stocks and bonds. In this section, we will review 2017 acquisition activity.

In our search for new stand-alone businesses, the key qualities we seek are durable competitive strengths; able and high-grade management; good returns on the net tangible assets required to operate the business; opportunities for internal growth at attractive returns; and, finally, *a sensible purchase price*.

That last requirement proved a barrier to virtually all deals we reviewed in 2017, as prices for decent, but far from spectacular, businesses hit an all-time high. Indeed, price seemed almost irrelevant to an army of optimistic purchasers.

Why the purchasing frenzy? In part, it's because the CEO job self-selects for "can-do" types. If Wall Street analysts or board members urge that brand of CEO to consider possible acquisitions, it's a bit like telling your ripening teenager to be sure to have a normal sex life.

Once a CEO hungers for a deal, he or she will never lack for forecasts that justify the purchase. Subordinates will be cheering, envisioning enlarged domains and the compensation levels that typically increase with corporate size. Investment bankers, smelling huge fees, will be applauding as well. (Don't ask the barber whether you need a haircut.) If the historical performance of the target falls short of validating its acquisition, large "synergies" will be forecast. Spreadsheets never disappoint.

The ample availability of extraordinarily cheap debt in 2017 further fueled purchase activity. After all, even a high-priced deal will usually boost per-share earnings if it is debt-financed. At Berkshire, in contrast, we evaluate acquisitions on an all-equity basis, knowing that our taste for overall debt is very low and that to assign a large portion of our debt to any individual business would generally be fallacious (leaving aside certain exceptions, such as debt dedicated to Clayton's lending portfolio or to the fixed-asset commitments at our regulated utilities). We also never factor in, nor do we often find, synergies.

Our aversion to leverage has dampened our returns over the years. But Charlie and I sleep well. Both of us believe it is insane to risk what you have and need in order to obtain what you don't need. We held this view 50 years ago when we each ran an investment partnership, funded by a few friends and relatives who trusted us. We also hold it today after a million or so "partners" have joined us at Berkshire.

Despite our recent drought of acquisitions, Charlie and I believe that from time to time Berkshire will have opportunities to make very large purchases. In the meantime, we will stick with our simple guideline: The less the prudence with which others conduct their affairs, the greater the prudence with which we must conduct our own.

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We were able to make one sensible stand-alone purchase last year, a 38.6% partnership interest in Pilot Flying J ("PFJ"). With about $20 billion in annual volume, the company is far and away the nation's leading travel-center operator.

PFJ has been run from the get-go by the remarkable Haslam family. "Big Jim" Haslam began with a dream and a gas station 60 years ago. Now his son, Jimmy, manages 27,000 associates at about 750 locations throughout North America. Berkshire has a contractual agreement to increase its partnership interest in PFJ to 80% in 2023; Haslam family members will then own the remaining 20%. Berkshire is delighted to be their partner.

When driving on the Interstate, drop in. PFJ sells gasoline as well as diesel fuel, and the food is good. If it's been a long day, remember, too, that our properties have 5,200 showers.

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Let's move now to bolt-on acquisitions. Some of these were small transactions that I will not detail. Here is an account, however, of a few larger purchases whose closings stretched between late 2016 and early 2018.

- Clayton Homes acquired two builders of conventional homes during 2017, a move that more than doubled our presence in a field we entered only three years ago. With these additions – Oakwood Homes in Colorado and Harris Doyle in Birmingham – I expect our 2018 site built volume will exceed $1 billion.

Clayton's emphasis, nonetheless, remains manufactured homes, both their construction and their financing. In 2017 Clayton sold 19,168 units through its own retail operation and wholesaled another 26,706 units to independent retailers. All told, Clayton accounted for 49% of the manufactured-home market last year. That industry-leading share – about three times what our nearest competitor did – is a far cry from the 13% Clayton achieved in 2003, the year it joined Berkshire.

Both Clayton Homes and PFJ are based in Knoxville, where the Clayton and Haslam families have long been friends. Kevin Clayton's comments to the Haslams about the advantages of a Berkshire affiliation, and his admiring comments about the Haslam family to me, helped cement the PFJ deal.

- Near the end of 2016, Shaw Industries, our floor coverings business, acquired U.S. Floors ("USF"), a rapidly growing distributor of luxury vinyl tile. USF's managers, Piet Dossche and Philippe Erramuzpe, came out of the gate fast, delivering a 40% increase in sales in 2017, during which their operation was integrated with Shaw's. It's clear that we acquired both great human assets *and* business assets in making the USF purchase.

Vance Bell, Shaw's CEO, originated, negotiated and completed this acquisition, which increased Shaw's sales to $5.7 billion in 2017 and its employment to 22,000. With the purchase of USF, Shaw has substantially strengthened its position as an important and durable source of earnings for Berkshire.

- I have told you several times about HomeServices, our growing real estate brokerage operation. Berkshire backed into this business in 2000 when we acquired a majority interest in MidAmerican Energy (now named Berkshire Hathaway Energy). MidAmerican's activities were then largely in the electric utility field, and I originally paid little attention to HomeServices.

But, year-by-year, the company added brokers and, by the end of 2016, HomeServices was the second-largest brokerage operation in the country – still ranking, though, far behind the leader, Realogy. In 2017, however, HomeServices' growth exploded. We acquired the industry's third-largest operator, Long and Foster; number 12, Houlihan Lawrence; and Gloria Nilson.

With those purchases we added 12,300 agents, raising our total to 40,950. HomeServices is now close to leading the country in home sales, having participated (including our three acquisitions pro-forma) in $127 billion of "sides" during 2017. To explain that term, there are two "sides" to every transaction; if we represent both buyer and seller, the dollar value of the transaction is counted twice.

Despite its recent acquisitions, HomeServices is on track to do only about 3% of the country's home-brokerage business in 2018. That leaves 97% to go. Given sensible prices, we will keep adding brokers in this most fundamental of businesses.

- Finally, Precision Castparts, a company built through acquisitions, bought Wilhelm Schulz GmbH, a German maker of corrosion resistant fittings, piping systems and components. Please allow me to skip a further explanation. I don't understand manufacturing operations as well as I do the activities of real estate brokers, home builders or truck stops.

Fortunately, I don't need in this instance to bring knowledge to the table: Mark Donegan, CEO of Precision, is an extraordinary manufacturing executive, and any business in his domain is slated to do well. Betting on people can sometimes be more certain than betting on physical assets.

Let's now move on to operations, beginning with property-casualty ("p/c") insurance, a business I *do* understand and the engine that for 51 years has powered Berkshire's growth.

Insurance

Before I discuss our 2017 insurance results, let me remind you of how and why we entered the field. We began by purchasing National Indemnity and a smaller sister company for $8.6 million in early 1967. With our purchase we received $6.7 million of tangible net worth that, by the nature of the insurance business, we were able to deploy in marketable securities. It was easy to rearrange the portfolio into securities we would otherwise have owned at Berkshire itself. In effect, we were "trading dollars" for the net worth portion of the cost.

The $1.9 million premium over net worth that Berkshire paid brought us an insurance business that usually delivered an underwriting profit. Even more important, the insurance operation carried with it $19.4 million of "float" – money that belonged to others but was held by our two insurers.

Ever since, float has been of great importance to Berkshire. When we invest these funds, all dividends, interest and gains from their deployment belong to Berkshire. (If we experience investment losses, those, of course, are on our tab as well.)

Float materializes at p/c insurers in several ways: (1) Premiums are generally paid to the company upfront whereas losses occur over the life of the policy, usually a six-month or one-year period; (2) Though some losses, such as car repairs, are quickly paid, others – such as the harm caused by exposure to asbestos – may take many years to surface and even longer to evaluate and settle; (3) Loss payments are sometimes spread over decades in cases, say, of a person employed by one of our workers' compensation policyholders being permanently injured and thereafter requiring expensive lifetime care.

Float generally grows as premium volume increases. Additionally, certain p/c insurers specialize in lines of business such as medical malpractice or product liability – business labeled "long-tail" in industry jargon – that generate far more float than, say, auto collision and homeowner policies, which require insurers to almost immediately make payments to claimants for needed repairs.

Berkshire has been a leader in long-tail business for many years. In particular, we have specialized in jumbo *reinsurance* policies that leave us assuming long-tail losses already incurred by other p/c insurers. As a result of our emphasizing that sort of business, Berkshire's growth in float has been extraordinary. We are now the country's second largest p/c company measured by premium volume and its leader, by far, in float.

Here's the record:

(in $ millions)

Year	Premium Volume	Float
1970	$ 39	$ 39
1980	185	237
1990	582	1,632
2000	19,343	27,871
2010	30,749	65,832
2017	60,597	114,500

Our 2017 volume was boosted by a huge deal in which we reinsured up to $20 billion of long-tail losses that AIG had incurred. Our premium for this policy was $10.2 billion, a world's record and one we won't come close to repeating. Premium volume will therefore fall somewhat in 2018.

Float will probably increase slowly for at least a few years. When we eventually experience a decline, it will be modest – at most 3% or so in any single year. Unlike bank deposits or life insurance policies containing surrender options, p/c float can't be withdrawn. This means that p/c companies can't experience massive "runs" in times of widespread financial stress, a characteristic of prime importance to Berkshire that we factor into our investment decisions.

Charlie and I *never* will operate Berkshire in a manner that depends on the kindness of strangers – or even that of friends who may be facing liquidity problems of their own. During the 2008-2009 crisis, we liked having Treasury Bills – *loads* of Treasury Bills – that protected us from having to rely on funding sources such as bank lines or commercial paper. We have intentionally constructed Berkshire in a manner that will allow it to comfortably withstand economic discontinuities, including such extremes as extended market closures.

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The downside of float is that it comes with risk, sometimes oceans of risk. What looks predictable in insurance can be anything but. Take the famous Lloyds insurance market, which produced decent results for three centuries. In the 1980's, though, huge latent problems from a few long-tail lines of insurance surfaced at Lloyds and, for a time, threatened to destroy its storied operation. (It has, I should add, fully recovered.)

Berkshire's insurance managers are conservative and careful underwriters, who operate in a culture that has long prioritized those qualities. That disciplined behavior has produced underwriting profits in most years, and in such instances, our cost of float was less than zero. In effect, we got *paid* then for holding the huge sums tallied in the earlier table.

I have warned you, however, that we have been fortunate in recent years and that the catastrophe-light period the industry was experiencing was not a new norm. Last September drove home that point, as three significant hurricanes hit Texas, Florida and Puerto Rico.

My guess at this time is that the insured losses arising from the hurricanes are $100 billion or so. That figure, however, could be *far* off the mark. The pattern with most mega-catastrophes has been that initial loss estimates ran low. As well-known analyst V.J. Dowling has pointed out, the loss reserves of an insurer are similar to a self-graded exam. Ignorance, wishful thinking or, occasionally, downright fraud can deliver inaccurate figures about an insurer's financial condition for a very long time.

We currently estimate Berkshire's losses from the three hurricanes to be $3 billion (or about $2 billion after tax). If both that estimate and my industry estimate of $100 billion are close to accurate, our share of the industry loss was about 3%. I believe that percentage is also what we may reasonably expect to be our share of losses in future American mega-cats.

It's worth noting that the $2 billion net cost from the three hurricanes reduced Berkshire's GAAP net worth by less than 1%. Elsewhere in the reinsurance industry there were many companies that suffered losses in net worth ranging from 7% to more than 15%. The damage to them could have been *far* worse: Had Hurricane Irma followed a path through Florida only a bit to the east, insured losses might well have been an additional $100 billion.

We believe that the annual probability of a U.S. mega-catastrophe causing $400 billion or more of insured losses is about 2%. No one, of course, knows the correct probability. We do know, however, that the risk increases over time because of growth in both the number and value of structures located in catastrophe-vulnerable areas.

No company comes close to Berkshire in being financially prepared for a $400 billion mega-cat. Our share of such a loss might be $12 billion or so, an amount far below the annual earnings we expect from our non-insurance activities. Concurrently, much – indeed, perhaps most – of the p/c world would be out of business. Our unparalleled financial strength explains why other p/c insurers come to Berkshire – and *only* Berkshire – when they, themselves, need to purchase huge reinsurance coverages for large payments they may have to make in the far future.

Prior to 2017, Berkshire had recorded 14 consecutive years of underwriting profits, which totaled $28.3 billion pre-tax. I have regularly told you that I expect Berkshire to attain an underwriting profit in a majority of years, but also to experience losses from time to time. My warning became fact in 2017, as we lost $3.2 billion pre-tax from underwriting.

A large amount of additional information about our various insurance operations is included in the 10-K at the back of this report. The only point I will add here is that you have some extraordinary managers working for you at our various p/c operations. This is a business in which there are no trade secrets, patents, or locational advantages. What counts are brains and capital. The managers of our various insurance companies supply the brains and Berkshire provides the capital.

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For many years, this letter has described the activities of Berkshire's many other businesses. That discussion has become both repetitious and partially duplicative of information regularly included in the 10-K that follows the letter. Consequently, this year I will give you a simple summary of our dozens of non-insurance businesses. Additional details can be found on pages K-5 – K-22 and pages K-40 – K-50.

Viewed as a group – *and excluding investment income* – our operations other than insurance delivered pre-tax income of $20 billion in 2017, an increase of $950 million over 2016. About 44% of the 2017 profit came from two subsidiaries. BNSF, our railroad, and Berkshire Hathaway Energy (of which we own 90.2%). You can read more about these businesses on pages K-5 – K-10 and pages K-40 – K-44.

Proceeding down Berkshire's long list of subsidiaries, our next five non-insurance businesses, as ranked by earnings (but presented here alphabetically) Clayton Homes, International Metalworking Companies, Lubrizol, Marmon and Precision Castparts had aggregate pre-tax income in 2017 of $5.5 billion, little changed from the $5.4 billion these companies earned in 2016.

The next five, similarly ranked and listed (Forest River, Johns Manville, MiTek, Shaw and TTI) earned $2.1 billion last year, up from $1.7 billion in 2016.

The remaining businesses that Berkshire owns – and there are many – recorded little change in pre-tax income, which was $3.7 billion in 2017 versus $3.5 billion in 2016.

Depreciation charges for all of these non-insurance operations totaled $7.6 billion; capital expenditures were $11.5 billion. Berkshire is always looking for ways to expand its businesses and regularly incurs capital expenditures that far exceed its depreciation charge. Almost 90% of our investments are made in the United States. America's economic soil remains fertile.

Amortization charges were an additional $1.3 billion. I believe that in large part this item is not a true economic cost. Partially offsetting this good news is the fact that BNSF (like all other railroads) records depreciation charges that fall well short of the sums regularly needed to keep the railroad in first-class shape.

Berkshire's goal is to substantially increase the earnings of its non-insurance group. For that to happen, we will need to make one or more huge acquisitions. We certainly have the resources to do so. At yearend Berkshire held $116.0 billion in cash and U.S. Treasury Bills (whose average maturity was 88 days), up from $86.4 billion at yearend 2016. This extraordinary liquidity earns only a pittance and is far beyond the level Charlie and I wish Berkshire to have. Our smiles will broaden when we have redeployed Berkshire's excess funds into more productive assets.

Investments

Below we list our fifteen common stock investments that at yearend had the largest market value. We exclude our Kraft Heinz holding – 325,442,152 shares – because Berkshire is part of a control group and therefore must account for this investment on the "equity" method. On its balance sheet, Berkshire carries its Kraft Heinz holding at a GAAP figure of $17.6 billion. The shares had a yearend market value of $25.3 billion, and a cost basis of $9.8 billion.

			12/31/17	
*Shares**	*Company*	*Percentage of Company Owned*	*Cost***	*Market*
			(in millions)	
151,610,700	American Express Company	17.6	$ 1,287	$ 15,056
166,713,209	Apple Inc.	3.3	20,961	28,213
700,000,000	Bank of America Corporation	6.8	5,007	20,664
53,307,534	The Bank of New York Mellon Corporation	5.3	2,230	2,871
225,000,000	BYD Company Ltd.	8.2	232	1,961
6,789,054	Charter Communications, Inc.	2.8	1,210	2,281
400,000,000	The Coca-Cola Company	9.4	1,299	18,352
53,110,395	Delta Airlines Inc.	7.4	2,219	2,974
44,527,147	General Motors Company	3.2	1,343	1,825
11,390,582	The Goldman Sachs Group, Inc.	3.0	654	2,902
24,669,778	Moody's Corporation	12.9	248	3,642
74,587,892	Phillips 66	14.9	5,841	7,545
47,659,456	Southwest Airlines Co.	8.1	1,997	3,119
103,855,045	U.S. Bancorp	6.3	3,343	5,565
482,544,468	Wells Fargo & Company	9.9	11,837	29,276
	Others		14,968	24,294
	Total Common Stocks Carried at Market		$ 74,676	$ 170,540

* Excludes shares held by pension funds of Berkshire subsidiaries.

** This is our actual purchase price and also our tax basis; GAAP "cost" differs in a few cases because of write-downs that have been required under GAAP rules.

Some of the stocks in the table are the responsibility of either Todd Combs or Ted Weschler, who work with me in managing Berkshire's investments. Each, *independently of me*, manages more than $12 billion; I usually learn about decisions they have made by looking at monthly portfolio summaries. Included in the $25 billion that the two manage is more than $8 billion of pension trust assets of certain Berkshire subsidiaries. As noted, pension investments are not included in the preceding tabulation of Berkshire holdings.

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Charlie and I view the marketable common stocks that Berkshire owns as interests in *businesses*, not as ticker symbols to be bought or sold based on their "chart" patterns, the "target" prices of analysts or the opinions of media pundits. Instead, we simply believe that if the businesses of the investees are successful (as we believe most will be) our investments will be successful as well. Sometimes the payoffs to us will be modest; occasionally the cash register will ring loudly. And sometimes I will make expensive mistakes. Overall – and over time – we should get decent results. In America, equity investors have the wind at their back.

From our stock portfolio – call our holdings "minority interests" in a diversified group of publicly-owned businesses – Berkshire received $3.7 billion of dividends in 2017. That's the number included in our GAAP figures, as well as in the "operating earnings" we reference in our quarterly and annual reports.

That dividend figure, however, *far* understates the "true" earnings emanating from our stock holdings. For decades, we have stated in Principle 6 of our "Owner-Related Business Principles" (page 19) that we expect *undistributed* earnings of our investees to deliver us at least equivalent earnings by way of subsequent capital gains.

Our recognition of capital gains (and losses) will be lumpy, particularly as we conform with the new GAAP rule requiring us to constantly record *unrealized* gains or losses in our earnings. I feel confident, however, that the earnings retained by our investees will over time, and with our investees viewed as a group, translate into commensurate capital gains for Berkshire.

The connection of value-building to retained earnings that I've just described will be impossible to detect in the short term. Stocks surge and swoon, seemingly untethered to any year-to-year buildup in their underlying value. Over time, however, Ben Graham's oft-quoted maxim proves true: "In the short run, the market is a voting machine; in the long run, however, it becomes a weighing machine."

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Berkshire, itself, provides some vivid examples of how price randomness in the short term can obscure long-term growth in value. For the last 53 years, the company has built value by reinvesting its earnings and letting compound interest work its magic. Year by year, we have moved forward. Yet Berkshire shares have suffered four truly major dips. Here are the gory details:

Period	High	Low	Percentage Decrease
March 1973-January 1975	93	38	(59.1%)
10/2/87-10/27/87	4,250	2,675	(37.1%)
6/19/98-3/10/2000	80,900	41,300	(48.9%)
9/19/08-3/5/09	147,000	72,400	(50.7%)

This table offers the strongest argument I can muster against ever using borrowed money to own stocks. There is simply no telling how far stocks can fall in a short period. Even if your borrowings are small and your positions aren't immediately threatened by the plunging market, your mind may well become rattled by scary headlines and breathless commentary. And an unsettled mind will not make good decisions.

In the next 53 years our shares (and others) will experience declines resembling those in the table. *No one* can tell you when these will happen. The light can at *any time* go from green to red without pausing at yellow.

When major declines occur, however, they offer extraordinary opportunities to those who are not handicapped by debt. That's the time to heed these lines from Kipling's *If*:

> "If you can keep your head when all about you are losing theirs . . .
> If you can wait and not be tired by waiting . . .
> If you can think – and not make thoughts your aim . . .
> If you can trust yourself when all men doubt you . . .
> Yours is the Earth and everything that's in it."

"The Bet" is Over and Has Delivered an Unforeseen Investment Lesson

Last year, at the 90% mark, I gave you a detailed report on a ten-year bet I had made on December 19, 2007. (The full discussion from last year's annual report is reprinted on pages 24 – 26.) Now I have the final tally – and, in several respects, it's an eye-opener.

I made the bet for two reasons: (1) to leverage my outlay of $318,250 into a disproportionately larger sum that – if things turned out as I expected – would be distributed in early 2018 to Girls Inc. of Omaha; and (2) to publicize my conviction that my pick – a virtually cost-free investment in an unmanaged S&P 500 index fund – would, over time, deliver better results than those achieved by most investment professionals, however well-regarded and incentivized those "helpers" may be.

Addressing this question is of enormous importance. American investors pay staggering sums annually to advisors, often incurring several layers of consequential costs. In the aggregate, do these investors get their money's worth? Indeed, again in the aggregate, do investors get *anything* for their outlays?

Protégé Partners, my counterparty to the bet, picked five "funds-of-funds" that it expected to overperform the S&P 500. That was *not* a small sample. Those five funds-of-funds in turn owned interests in more than 200 hedge funds.

Essentially, Protégé, an advisory firm that knew its way around Wall Street, selected five investment experts who, in turn, employed several hundred other investment experts, each managing his or her own hedge fund. This assemblage was an elite crew, loaded with brains, adrenaline and confidence.

The managers of the five funds-of-funds possessed a further advantage: They could – and did – rearrange their portfolios of hedge funds during the ten years, investing with new "stars" while exiting their positions in hedge funds whose managers had lost their touch.

Every actor on Protégé's side was highly incentivized: Both the fund-of-funds managers and the hedge-fund managers they selected significantly shared in gains, even those achieved simply because the market generally moves upwards. (In *100%* of the 43 ten-year periods since we took control of Berkshire, years with gains by the S&P 500 exceeded loss years.)

Those performance incentives, it should be emphasized, were frosting on a huge and tasty cake: Even if the funds *lost* money for their investors during the decade, their managers could grow very rich. That would occur because *fixed* fees averaging a staggering 2 ½% of assets or so were paid *every year* by the fund-of-funds' investors, with part of these fees going to the managers at the five funds-of-funds and the balance going to the 200-plus managers of the underlying hedge funds.

Here's the final scorecard for the bet:

Year	Fund-of-Funds A	Fund-of-Funds B	Fund-of-Funds C	Fund-of-Funds D	Fund-of-Funds E	S&P Index Fund
2008	-16.5%	-22.3%	-21.3%	-29.3%	-30.1%	-37.0%
2009	11.3%	14.5%	21.4%	16.5%	16.8%	26.6%
2010	5.9%	6.8%	13.3%	4.9%	11.9%	15.1%
2011	-6.3%	-1.3%	5.9%	-6.3%	-2.8%	2.1%
2012	3.4%	9.6%	5.7%	6.2%	9.1%	16.0%
2013	10.5%	15.2%	8.8%	14.2%	14.4%	32.3%
2014	4.7%	4.0%	18.9%	0.7%	-2.1%	13.6%
2015	1.6%	2.5%	5.4%	1.4%	-5.0%	1.4%
2016	-3.2%	1.9%	-1.7%	2.5%	4.4%	11.9%
2017	12.2%	10.6%	15.6%	N/A	18.0%	21.8%
Final Gain	21.7%	42.3%	87.7%	2.8%	27.0%	125.8%
Average Annual Gain	2.0%	3.6%	6.5%	0.3%	2.4%	8.5%

Footnote: Under my agreement with Protégé Partners, the names of these funds-of-funds have never been publicly disclosed. I, however, have received their annual audits from Protégé. The 2016 figures for funds A, B and C were revised slightly from those originally reported last year. Fund D was liquidated in 2017; its average annual gain is calculated for the nine years of its operation.

The five funds-of-funds got off to a fast start, each beating the index fund in 2008. Then the roof fell in. In *every one* of the nine years that followed, the funds-of-funds as a whole trailed the index fund.

Let me emphasize that there was nothing aberrational about stock-market behavior over the ten-year stretch. If a poll of investment "experts" had been asked late in 2007 for a forecast of long-term common-stock returns, their guesses would have likely averaged close to the 8.5% actually delivered by the S&P 500. Making money in that environment should have been easy. Indeed, Wall Street "helpers" earned staggering sums. While this group prospered, however, many of their investors experienced a lost decade.

Performance comes, performance goes. Fees never falter.

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The bet illuminated another important investment lesson: Though markets are generally rational, they occasionally do crazy things. Seizing the opportunities then offered does *not* require great intelligence, a degree in economics or a familiarity with Wall Street jargon such as alpha and beta. What investors then need instead is an ability to both disregard mob fears or enthusiasms and to focus on a few simple fundamentals. A willingness to look unimaginative for a sustained period – or even to look foolish – is also essential.

Originally, Protégé and I each funded our portion of the ultimate $1 million prize by purchasing $500,000 face amount of zero-coupon U.S. Treasury bonds (sometimes called "strips"). These bonds cost each of us $318,250 – a bit less than 64¢ on the dollar – with the $500,000 payable in ten years.

As the name implies, the bonds we acquired paid no interest, but (because of the discount at which they were purchased) delivered a 4.56% annual return if held to maturity. Protégé and I originally intended to do no more than tally the annual returns and distribute $1 million to the winning charity when the bonds matured late in 2017.

After our purchase, however, some very strange things took place in the bond market. By November 2012, our bonds – now with about five years to go before they matured – were selling for *95.7%* of their face value. At *that* price, their annual yield to maturity was less than 1%. Or, to be precise, *.88%*.

Given that pathetic return, our bonds had become a dumb – a *really* dumb – investment compared to American equities. Over time, the S&P 500 – which mirrors a huge cross-section of American business, appropriately weighted by market value – has earned *far* more than 10% annually on shareholders' equity (net worth).

In November 2012, as we were considering all this, the *cash* return from dividends on the S&P 500 was 2 ½% annually, about triple the yield on our U.S. Treasury bond. These dividend payments were almost certain to grow. Beyond that, huge sums were being retained by the companies comprising the 500. These businesses would use their retained earnings to expand their operations and, frequently, to repurchase their shares as well. Either course would, over time, substantially increase earnings-per-share. And – as has been the case since 1776 – whatever its problems of the minute, the American economy was going to move forward.

Presented late in 2012 with the extraordinary valuation mismatch between bonds and equities, Protégé and I agreed to sell the bonds we had bought five years earlier and use the proceeds to buy 11,200 Berkshire "B" shares. The result: Girls Inc. of Omaha found itself receiving $2,222,279 last month rather than the $1 million it had originally hoped for.

Berkshire, it should be emphasized, has not performed brilliantly since the 2012 substitution. But brilliance wasn't needed: After all, Berkshire's gain only had to beat that annual .88% bond bogey – hardly a Herculean achievement.

The only risk in the bonds-to-Berkshire switch was that yearend 2017 would coincide with an exceptionally weak stock market. Protégé and I felt this possibility (which *always* exists) was very low. Two factors dictated this conclusion: The reasonable price of Berkshire in late 2012, and the large asset build-up that was almost certain to occur at Berkshire during the five years that remained before the bet would be settled. Even so, to eliminate *all* risk to the charities from the switch, I agreed to make up any shortfall if sales of the 11,200 Berkshire shares at yearend 2017 didn't produce at least $1 million.

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Investing is an activity in which consumption today is foregone in an attempt to allow greater consumption at a later date. "Risk" is the possibility that this objective won't be attained.

By that standard, purportedly "risk-free" long-term bonds in 2012 were a *far* riskier investment than a long-term investment in common stocks. At that time, even a 1% annual rate of inflation between 2012 and 2017 would have decreased the purchasing-power of the government bond that Protégé and I sold.

I want to quickly acknowledge that in *any* upcoming day, week or even year, stocks will be riskier – far riskier – than short-term U.S. bonds. As an investor's investment horizon lengthens, however, a diversified portfolio of U.S. equities becomes progressively *less* risky than bonds, assuming that the stocks are purchased at a sensible multiple of earnings relative to then-prevailing interest rates.

It is a terrible mistake for investors with long-term horizons – among them, pension funds, college endowments and savings-minded individuals – to measure their investment "risk" by their portfolio's ratio of bonds to stocks. Often, high-grade bonds in an investment portfolio *increase* its risk.

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A final lesson from our bet: Stick with big, "easy" decisions and eschew activity. During the ten-year bet, the 200-plus hedge-fund managers that were involved almost certainly made tens of thousands of buy and sell decisions. Most of those managers undoubtedly thought hard about their decisions, each of which they believed would prove advantageous. In the process of investing, they studied 10-Ks, interviewed managements, read trade journals and conferred with Wall Street analysts.

Protégé and I, meanwhile, leaning neither on research, insights nor brilliance, made only one investment decision during the ten years. We simply decided to sell our bond investment at a price of more than 100 times earnings (95.7 sale price/.88 yield), those being "earnings" that could not increase during the ensuing five years.

We made the sale in order to move our money into a single security – Berkshire – that, in turn, owned a diversified group of solid businesses. Fueled by retained earnings, Berkshire's growth in value was unlikely to be less than 8% annually, even if we were to experience a so-so economy.

After that kindergarten-like analysis, Protégé and I made the switch and relaxed, confident that, over time, 8% was certain to beat .88%. By a lot.

The Annual Meeting

The annual meeting falls on May 5th and will again be webcast by Yahoo!, whose web address is https://finance.yahoo.com/brklivestream. The webcast will go live at 8:45 a.m. Central Daylight Time. Yahoo! will interview directors, managers, stockholders and celebrities before the meeting and during the lunch break. Both the interviews and meeting will be translated simultaneously into Mandarin.

Our partnership with Yahoo! began in 2016 and shareholders have responded enthusiastically. Last year, real-time viewership increased 72% to about 3.1 million and replays of short segments totaled 17.1 million.

For those attending the meeting in person, the doors at the CenturyLink will open at 7:00 a.m. on Saturday to facilitate shopping prior to our shareholder movie, which begins at 8:30. The question-and-answer period will start at 9:15 and run until 3:30, with a one-hour lunch break at noon. Finally, at 3:45 we will begin the formal shareholder meeting, which usually runs from 15 to 45 minutes. Shopping will end at 4:30.

On Friday, May 4th, our Berkshire exhibitors at CenturyLink will be open from noon until 5 p.m. We added that extra shopping time in 2015, and serious shoppers love it. Last year about 12,000 people came through the doors in the five hours we were open on Friday.

Your venue for shopping will be the 194,300-square-foot hall that adjoins the meeting and in which products from dozens of our subsidiaries will be *for sale*. (Your Chairman discourages freebies.) Say hello to the many Berkshire managers who will be captaining their exhibits. And be sure to view the terrific BNSF railroad layout that salutes all of our companies.

Brooks, our running-shoe company, will again have a special commemorative shoe to offer at the meeting. After you purchase a pair, wear them on Sunday at our sixth annual "Berkshire 5K," an 8 a.m. race starting at the CenturyLink. Full details for participating will be included in the Visitor's Guide that will be sent to you with your meeting credentials. Entrants in the race will find themselves running alongside many of Berkshire's managers, directors and associates. (Charlie and I, however, will sleep in; even with Brooks running shoes, our times would be embarrassing.) Participation in the 5K grows every year. Help us set another record.

A GEICO booth in the shopping area will be staffed by a number of the company's top counselors from around the country. At last year's meeting, we set a record for policy sales, up 43% from 2016.

So stop by for a quote. In most cases, GEICO will be able to give you a shareholder discount (usually 8%). This special offer is permitted by 44 of the 51 jurisdictions in which we operate. (One supplemental point: The discount is not additive if you qualify for another discount, such as that available to certain groups.) Bring the details of your existing insurance and check out our price. We can save many of you real money. Spend the savings on other Berkshire products.

Be sure to visit the Bookworm. This Omaha-based retailer will carry more than 40 books and DVDs, among them a couple of new titles. Berkshire shareholders are a bookseller's dream: When *Poor Charlie's Almanack* (yes, *our* Charlie) made its debut some years ago, we sold 3,500 copies at the meeting. The book weighed 4.85 pounds. Do the math: Our shareholders left the building that day carrying about 8 ½ tons of Charlie's wisdom.

An attachment to the proxy material that is enclosed with this report explains how you can obtain the credential you will need for admission to both the meeting and other events. Keep in mind that most airlines substantially increase prices for the Berkshire weekend. If you are coming from far away, compare the cost of flying to Kansas City vs. Omaha. The drive between the two cities is about 2½ hours, and it may be that Kansas City can save you significant money. The savings for a couple could run to $1,000 or more. Spend that money with us.

At Nebraska Furniture Mart, located on a 77-acre site on 72nd Street between Dodge and Pacific, we will again be having "Berkshire Weekend" discount pricing. To obtain the Berkshire discount at NFM, you must make your purchases between Tuesday, May 1st and Monday, May 7th inclusive, and must also present your meeting credential. Last year, the one-week volume for the store was a staggering $44.6 million. Bricks and mortar are alive and well at NFM.

The period's special pricing will even apply to the products of several prestigious manufacturers that normally have ironclad rules against discounting but which, in the spirit of our shareholder weekend, have made an exception for you. We appreciate their cooperation. During "Berkshire Weekend," NFM will be open from 10 a.m. to 9 p.m. Monday through Saturday and 11 a.m. to 8 p.m. on Sunday. From 5:30 p.m. to 8 p.m. on Saturday, NFM is hosting a picnic to which you are all invited.

NFM will again extend its shareholder's discount offerings to our Kansas City and Dallas stores. From May 1st through May 7th, shareholders who present meeting credentials or other evidence of their Berkshire ownership (such as brokerage statements) to those NFM stores will receive the same discounts enjoyed by those visiting the Omaha store.

At Borsheims, we will again have two shareholder-only events. The first will be a cocktail reception from 6 p.m. to 9 p.m. on Friday, May 4th. The second, the main gala, will be held on Sunday, May 6th, from 9 a.m. to 4 p.m. On Saturday, we will remain open until 6 p.m. Remember, the more you buy, the more you save (or so my daughter tells me when we visit the store).

We will have huge crowds at Borsheims throughout the weekend. For your convenience, therefore, shareholder prices will be available from Monday, April 30th through Saturday, May 12th. During that period, please identify yourself as a shareholder either by presenting your meeting credential or a brokerage statement showing you own our stock.

On Sunday afternoon, on the upper level above Borsheims, we will have Bob Hamman and Sharon Osberg, two of the world's top bridge experts, available to play with our shareholders. If they suggest wagering on the game, change the subject. Ajit, Charlie, Bill Gates and I will likely drop by as well.

My friend, Ariel Hsing, will be in the mall as well on Sunday, taking on challengers at table tennis. I met Ariel when she was nine, and even then I was unable to score a point against her. Ariel represented the United States in the 2012 Olympics. If you don't mind embarrassing yourself, test your skills against her, beginning at 1 p.m. Bill Gates did pretty well playing Ariel last year, so he may be ready to again challenge her. (My advice: Bet on Ariel.) I will participate on an advisory basis only.

Gorat's will be open exclusively for Berkshire shareholders on Sunday, May 6th, serving from 12 p.m. until 10 p.m. To make a reservation at Gorat's, call 402-551-3733 on April 2nd (*but not before*). Show you are a sophisticated diner by ordering the T-bone with hash browns.

We will have the same three financial journalists lead the question-and-answer period at the meeting, asking Charlie and me questions that shareholders have submitted to them by e-mail. The journalists and their e-mail addresses are: Carol Loomis, the preeminent business journalist of her time, who may be e-mailed at loomisbrk@gmail.com; Becky Quick, of CNBC, at BerkshireQuestions@cnbc.com; and Andrew Ross Sorkin, of the New York Times, at arsorkin@nytimes.com.

From the questions submitted, each journalist will choose the six he or she decides are the most interesting and important to shareholders. The journalists have told me your question has the best chance of being selected if you keep it concise, avoid sending it in at the last moment, make it Berkshire-related and include no more than two questions in any e-mail you send them. (In your e-mail, let the journalist know if you would like your name mentioned if your question is asked.)

An accompanying set of questions will be asked by three analysts who follow Berkshire. This year the insurance specialist will be Gary Ransom of Dowling & Partners. Questions that deal with our non-insurance operations will come from Jonathan Brandt of Ruane, Cunniff & Goldfarb and Gregg Warren of Morningstar. Since what we will be conducting is a *shareholders'* meeting, our hope is that the analysts and journalists will ask questions that add to our owners' understanding and knowledge of their investment.

Neither Charlie nor I will get so much as a clue about the questions headed our way. Some will be tough, for sure, and that's the way we like it. Multi-part questions aren't allowed; we want to give as many questioners as possible a shot at us. Our goal is for you to leave the meeting knowing more about Berkshire than when you came and for you to have a good time while in Omaha.

All told, we expect at least 54 questions, which will allow for six from each analyst and journalist and for 18 from the audience. After the 54th, all questions come from the audience. Charlie and I have often tackled more than 60 by 3:30.

The questioners from the audience will be chosen by means of 11 drawings that will take place at 8:15 a.m. on the morning of the annual meeting. Each of the 11 microphones installed in the arena and main overflow room will host, so to speak, a drawing.

While I'm on the subject of our owners' gaining knowledge, let me remind you that Charlie and I believe all shareholders should simultaneously have access to new information that Berkshire releases and, if possible, should also have adequate time to digest and analyze that information before any trading takes place. That's why we try to issue financial data late on Fridays or early on Saturdays and why our annual meeting is always held on a Saturday (a day that also eases traffic and parking problems).

We do not follow the common practice of talking one-on-one with large institutional investors or analysts, treating them instead as we do all other shareholders. There is no one more important to us than the shareholder of limited means who trusts us with a substantial portion of his or her savings. As I run the company day-to-day – and as I write this letter – that is the shareholder whose image is in my mind.

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For good reason, I regularly extol the accomplishments of our operating managers. They are truly All-Stars who run their businesses as if they were the only asset owned by their families. I also believe the mindset of our managers to be as shareholder-oriented as can be found in the universe of large publicly-owned companies. Most of our managers have no financial need to work. The joy of hitting business "home runs" means as much to them as their paycheck.

If managers (or directors) own Berkshire shares – and many do – it's from open-market purchases they have made or because they received shares when they sold their businesses to us. *None*, however, gets the upside of ownership without risking the downside. Our directors and managers stand in your shoes.

We continue to have a wonderful group at headquarters. This team efficiently deals with a multitude of SEC and other regulatory requirements, files a 32,700-page Federal income tax return, oversees the filing of 3,935 state tax returns, responds to countless shareholder and media inquiries, gets out the annual report, prepares for the country's largest annual meeting, coordinates the Board's activities, fact-checks this letter – and the list goes on and on.

They handle all of these business tasks cheerfully and with unbelievable efficiency, making my life easy and pleasant. Their efforts go beyond activities strictly related to Berkshire: Last year, for example, they dealt with the 40 universities (selected from 200 applicants) who sent students to Omaha for a Q&A day with me. They also handle all kinds of requests that I receive, arrange my travel, and even get me hamburgers and French fries (smothered in Heinz ketchup, of course) for lunch. In addition, they cheerfully pitch in to help at the annual meeting in whatever way they are needed. They are proud to work for Berkshire, and I am proud of them.

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I've saved the best for last. Early in 2018, Berkshire's board elected Ajit Jain and Greg Abel as directors of Berkshire and also designated each as Vice Chairman. Ajit is now responsible for insurance operations, and Greg oversees the rest of our businesses. Charlie and I will focus on investments and capital allocation.

You and I are lucky to have Ajit and Greg working for us. Each has been with Berkshire for decades, and Berkshire's blood flows through their veins. The character of each man matches his talents. And that says it all.

Come to Omaha – the cradle of capitalism – on May 5th and meet the Berkshire Bunch. All of us look forward to your visit.

February 24, 2018

Warren E. Buffett
Chairman of the Board

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Book Value of Berkshire	in Per-Share Market Value of Berkshire	in S&P 500 with Dividends Included
1965	23.8	49.5	10.0
1966	20.3	(3.4)	(11.7)
1967	11.0	13.3	30.9
1968	19.0	77.8	11.0
1969	16.2	19.4	(8.4)
1970	12.0	(4.6)	3.9
1971	16.4	80.5	14.6
1972	21.7	8.1	18.9
1973	4.7	(2.5)	(14.8)
1974	5.5	(48.7)	(26.4)
1975	21.9	2.5	37.2
1976	59.3	129.3	23.6
1977	31.9	46.8	(7.4)
1978	24.0	14.5	6.4
1979	35.7	102.5	18.2
1980	19.3	32.8	32.3
1981	31.4	31.8	(5.0)
1982	40.0	38.4	21.4
1983	32.3	69.0	22.4
1984	13.6	(2.7)	6.1
1985	48.2	93.7	31.6
1986	26.1	14.2	18.6
1987	19.5	4.6	5.1
1988	20.1	59.3	16.6
1989	44.4	84.6	31.7
1990	7.4	(23.1)	(3.1)
1991	39.6	35.6	30.5
1992	20.3	29.8	7.6
1993	14.3	38.9	10.1
1994	13.9	25.0	1.3
1995	43.1	57.4	37.6
1996	31.8	6.2	23.0
1997	34.1	34.9	33.4
1998	48.3	52.2	28.6
1999	0.5	(19.9)	21.0
2000	6.5	26.6	(9.1)
2001	(6.2)	6.5	(11.9)
2002	10.0	(3.8)	(22.1)
2003	21.0	15.8	28.7
2004	10.5	4.3	10.9
2005	6.4	0.8	4.9
2006	18.4	24.1	15.8
2007	11.0	28.7	5.5
2008	(9.6)	(31.8)	(37.0)
2009	19.8	2.7	26.5
2010	13.0	21.4	15.1
2011	4.6	(4.7)	2.1
2012	14.4	16.8	16.0
2013	18.2	32.7	32.4
2014	8.3	27.0	13.7
2015	6.4	(12.5)	1.4
2016	10.7	23.4	12.0
2017	23.0	21.9	21.8
2018	0.4	2.8	(4.4)
Compounded Annual Gain – 1965-2018	18.7%	20.5%	9.7%
Overall Gain – 1964-2018	1,091,899%	2,472,627%	15,019%

Note: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31. Starting in 1979, accounting rules required insurance companies to value the equity securities they hold at market rather than at the lower of cost or market, which was previously the requirement. In this table, Berkshire's results through 1978 have been restated to conform to the changed rules. In all other respects, the results are calculated using the numbers originally reported. The S&P 500 numbers are **pre-tax** whereas the Berkshire numbers are **after-tax**. If a corporation such as Berkshire were simply to have owned the S&P 500 and accrued the appropriate taxes, its results would have lagged the S&P 500 in years when that index showed a positive return, but would have exceeded the S&P 500 in years when the index showed a negative return. Over the years, the tax costs would have caused the aggregate lag to be substantial.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Berkshire earned $4.0 billion in 2018 utilizing generally accepted accounting principles (commonly called "GAAP"). The components of that figure are $24.8 billion in operating earnings, a $3.0 billion non-cash loss from an impairment of intangible assets (arising almost entirely from our equity interest in Kraft Heinz), $2.8 billion in realized capital gains from the sale of investment securities and a $20.6 billion *loss* from a reduction in the amount of unrealized capital gains that existed in our investment holdings.

A new GAAP rule requires us to include that last item in earnings. As I emphasized in the 2017 annual report, neither Berkshire's Vice Chairman, Charlie Munger, nor I believe that rule to be sensible. Rather, both of us have consistently thought that at Berkshire this mark-to-market change would produce what I described as "wild and capricious swings in our bottom line."

The accuracy of that prediction can be suggested by our quarterly results during 2018. In the first and fourth quarters, we reported GAAP *losses* of $1.1 billion and $25.4 billion respectively. In the second and third quarters, we reported *profits* of $12 billion and $18.5 billion. In complete contrast to these gyrations, the many businesses that Berkshire owns delivered consistent and satisfactory operating earnings in *all* quarters. For the year, those earnings exceeded their 2016 high of $17.6 billion by 41%.

Wide swings in our quarterly GAAP earnings will inevitably continue. That's because our huge equity portfolio – valued at nearly $173 billion at the end of 2018 – will often experience one-day price fluctuations of $2 billion or more, all of which the new rule says must be dropped immediately to our bottom line. Indeed, in the fourth quarter, a period of high volatility in stock prices, we experienced several days with a "profit" or "loss" of more than $4 billion.

Our advice? Focus on operating earnings, paying little attention to gains or losses of any variety. My saying that in no way diminishes the importance of our investments to Berkshire. Over time, Charlie and I expect them to deliver substantial gains, albeit with highly irregular timing.

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Long-time readers of our annual reports will have spotted the different way in which I opened this letter. For nearly three decades, the initial paragraph featured the percentage change in Berkshire's per-share book value. It's now time to abandon that practice.

The fact is that the annual change in Berkshire's book value – which makes its farewell appearance on page 2 – is a metric that has lost the relevance it once had. Three circumstances have made that so. First, Berkshire has gradually morphed from a company whose assets are concentrated in marketable stocks into one whose major value resides in operating businesses. Charlie and I expect that reshaping to continue in an irregular manner. Second, while our *equity holdings* are valued at market prices, accounting rules require our collection of *operating companies* to be included in book value at an amount far below their current value, a mismark that has grown in recent years. Third, it is likely that – over time – Berkshire will be a significant repurchaser of its shares, transactions that will take place at prices above book value but below our estimate of intrinsic value. The math of such purchases is simple: Each transaction makes per-share intrinsic value go up, while per-share book value goes down. That combination causes the book-value scorecard to become increasingly out of touch with economic reality.

In future tabulations of our financial results, we expect to focus on Berkshire's market price. Markets can be extremely capricious: Just look at the 54-year history laid out on page 2. Over time, however, Berkshire's stock price will provide the best measure of business performance.

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Before moving on, I want to give you some good news – *really* good news – that is not reflected in our financial statements. It concerns the management changes we made in early 2018, when Ajit Jain was put in charge of all insurance activities and Greg Abel was given authority over all other operations. These moves were overdue. Berkshire is now far better managed than when I alone was supervising operations. Ajit and Greg have rare talents, and Berkshire blood flows through their veins.

Now let's take a look at what you own.

Focus on the Forest – Forget the Trees

Investors who evaluate Berkshire sometimes obsess on the details of our many and diverse businesses – our economic "trees," so to speak. Analysis of that type can be mind-numbing, given that we own a vast array of specimens, ranging from twigs to redwoods. A few of our trees are diseased and unlikely to be around a decade from now. Many others, though, are destined to grow in size and beauty.

Fortunately, it's not necessary to evaluate each tree individually to make a rough estimate of Berkshire's intrinsic business value. That's because our forest contains five "groves" of major importance, each of which can be appraised, with reasonable accuracy, in its entirety. Four of those groves are differentiated clusters of businesses and financial assets that are easy to understand. The fifth – our huge and diverse insurance operation – delivers great value to Berkshire in a less obvious manner, one I will explain later in this letter.

Before we look more closely at the first four groves, let me remind you of our prime goal in the deployment of your capital: to buy ably-managed businesses, *in whole or part*, that possess favorable and durable economic characteristics. We also need to make these purchases at sensible prices.

Sometimes we can buy control of companies that meet our tests. Far more often, we find the attributes we seek in publicly-traded businesses, in which we normally acquire a 5% to 10% interest. Our two-pronged approach to huge-scale capital allocation is rare in corporate America and, at times, gives us an important advantage.

In recent years, the sensible course for us to follow has been clear: Many stocks have offered far more for our money than we could obtain by purchasing businesses in their entirety. That disparity led us to buy about $43 billion of marketable equities last year, while selling only $19 billion. Charlie and I believe the companies in which we invested offered excellent value, far exceeding that available in takeover transactions.

Despite our recent additions to marketable equities, the most valuable grove in Berkshire's forest remains the many dozens of non-insurance businesses that Berkshire controls (usually with 100% ownership and never with less than 80%). Those subsidiaries earned $16.8 billion last year. When we say "earned," moreover, we are describing what remains after *all* income taxes, interest payments, managerial compensation (whether cash or stock-based), restructuring expenses, depreciation, amortization and home-office overhead.

That brand of earnings is a far cry from that frequently touted by Wall Street bankers and corporate CEOs. Too often, their presentations feature "adjusted EBITDA," a measure that redefines "earnings" to exclude a variety of all-too-real costs.

For example, managements sometimes assert that their company's stock-based compensation shouldn't be counted as an expense. (What else could it be – a *gift* from shareholders?) And restructuring expenses? Well, maybe last year's exact rearrangement won't recur. But restructurings of one sort or another are common in business – Berkshire has gone down that road dozens of times, and our shareholders have always borne the costs of doing so.

Abraham Lincoln once posed the question: "If you call a dog's tail a leg, how many legs does it have?" and then answered his own query: "Four, because calling a tail a leg doesn't make it one." Abe would have felt lonely on Wall Street.

Charlie and I do contend that our acquisition-related amortization expenses of $1.4 billion (detailed on page K-84) are not a true economic cost. We add back such amortization "costs" to GAAP earnings when we are evaluating both private businesses and marketable stocks.

In contrast, Berkshire's $8.4 billion depreciation charge understates our true economic cost. In fact, we need to spend *more* than this sum annually to simply remain competitive in our many operations. Beyond those "maintenance" capital expenditures, we spend large sums in pursuit of growth. Overall, Berkshire invested a record $14.5 billion last year in plant, equipment and other fixed assets, with 89% of that spent in America.

Berkshire's runner-up grove by value is its collection of equities, typically involving a 5% to 10% ownership position in a very large company. As noted earlier, our equity investments were worth nearly $173 billion at yearend, an amount far above their cost. If the portfolio had been sold at its yearend valuation, federal income tax of about $14.7 billion would have been payable on the gain. In all likelihood, we will hold most of these stocks for a long time. Eventually, however, gains generate taxes at whatever rate prevails at the time of sale.

Our investees paid us dividends of $3.8 billion last year, a sum that will increase in 2019. Far more important than the dividends, though, are the huge earnings that are annually retained by these companies. Consider, as an indicator, these figures that cover only our five largest holdings.

Company	Yearend Ownership	Berkshire's Share in $ millions of Dividends(1)	Retained Earnings(2)
American Express	17.9%	$ 237	$ 997
Apple	5.4%	745	2,502
Bank of America	9.5%	551	2,096
Coca-Cola	9.4%	624	(21)
Wells Fargo	9.8%	809	1,263
Total		$2,966	$6,837

(1) Based on current annual rate.
(2) Based on 2018 earnings minus common and preferred dividends paid.

GAAP – which dictates the earnings we report – does not allow us to include the retained earnings of investees in our financial accounts. But those earnings are of enormous value to us: Over the years, earnings retained by our investees (viewed as a group) have eventually delivered capital gains to Berkshire that totaled more than one dollar for each dollar these companies reinvested for us.

All of our major holdings enjoy excellent economics, and most use a portion of their retained earnings to repurchase their shares. We very much like that: If Charlie and I think an investee's stock is underpriced, we rejoice when management employs some of its earnings to increase Berkshire's ownership percentage.

Here's one example drawn from the table above: Berkshire's holdings of American Express have remained unchanged over the past eight years. Meanwhile, our ownership increased from 12.6% to 17.9% because of repurchases made by the company. Last year, Berkshire's portion of the $6.9 billion earned by American Express was $1.2 billion, about 96% of the $1.3 billion we paid for our stake in the company. When earnings increase and shares outstanding decrease, owners – over time – usually do well.

A third category of Berkshire's business ownership is a quartet of companies in which we share control with other parties. Our portion of the after-tax operating earnings of these businesses – 26.7% of Kraft Heinz, 50% of Berkadia and Electric Transmission Texas, and 38.6% of Pilot Flying J – totaled about $1.3 billion in 2018.

In our fourth grove, Berkshire held $112 billion at yearend in U.S. Treasury bills and other cash equivalents, and another $20 billion in miscellaneous fixed-income instruments. We consider a portion of that stash to be untouchable, having pledged to always hold at least $20 billion in cash equivalents to guard against external calamities. We have also promised to avoid *any* activities that could threaten our maintaining that buffer.

Berkshire will forever remain a financial fortress. In managing, I will make expensive mistakes of commission and will also miss many opportunities, some of which should have been obvious to me. At times, our stock will tumble as investors flee from equities. But I will never risk getting caught short of cash.

In the years ahead, we hope to move much of our excess liquidity into businesses that Berkshire will permanently own. The immediate prospects for that, however, are not good: Prices are sky-high for businesses possessing decent long-term prospects.

That disappointing reality means that 2019 will likely see us again expanding our holdings of marketable equities. We continue, nevertheless, to hope for an elephant-sized acquisition. Even at our ages of 88 and 95 – *I'm the young one* – that prospect is what causes my heart and Charlie's to beat faster. (Just writing about the possibility of a huge purchase has caused my pulse rate to soar.)

My expectation of more stock purchases is *not* a market call. Charlie and I have no idea as to how stocks will behave next week or next year. Predictions of that sort have *never* been a part of our activities. Our thinking, rather, is focused on calculating whether a portion of an attractive business is worth more than its market price.

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I believe Berkshire's intrinsic value can be *approximate*d by summing the values of our four asset-laden groves and then subtracting an appropriate amount for taxes eventually payable on the sale of marketable securities.

You may ask whether an allowance should not also be made for the major tax costs Berkshire would incur if we were to sell certain of our wholly-owned businesses. Forget that thought: It would be foolish for us to sell any of our wonderful companies even if *no* tax would be payable on its sale. Truly good businesses are exceptionally hard to find. Selling any you are lucky enough to own makes no sense at all.

The interest cost on *all* of our debt has been deducted as an expense in calculating the earnings at Berkshire's non-insurance businesses. Beyond that, much of our ownership of the first four groves is financed by funds generated from Berkshire's fifth grove – a collection of exceptional insurance companies. We call those funds "float," a source of financing that we expect to be cost-free – or maybe even better than that – over time. We will explain the characteristics of float later in this letter.

Finally, a point of key and lasting importance: Berkshire's value is maximized by our having assembled the five groves into a single entity. This arrangement allows us to seamlessly and objectively allocate major amounts of capital, eliminate enterprise risk, avoid insularity, fund assets at exceptionally low cost, occasionally take advantage of tax efficiencies, and minimize overhead.

At Berkshire, the whole is greater – considerably greater – than the sum of the parts.

Repurchases and Reporting

Earlier I mentioned that Berkshire will from time to time be repurchasing its own stock. Assuming that we buy at a discount to Berkshire's intrinsic value – which certainly will be our intention – repurchases will benefit both those shareholders leaving the company and those who stay.

True, the upside from repurchases is very slight for those who are leaving. That's because careful buying by us will minimize any impact on Berkshire's stock price. Nevertheless, there is *some* benefit to sellers in having an extra buyer in the market.

For continuing shareholders, the advantage is obvious: If the market prices a departing partner's interest at, say, 90¢ on the dollar, continuing shareholders reap an increase in per-share intrinsic value with every repurchase by the company. Obviously, repurchases should be price-sensitive: Blindly buying an overpriced stock is value-destructive, a fact lost on many promotional or ever-optimistic CEOs.

When a company says that it contemplates repurchases, it's vital that all shareholder-partners be given the information they need to make an intelligent estimate of value. Providing that information is what Charlie and I try to do in this report. We do not want a partner to sell shares back to the company because he or she has been misled or inadequately informed.

Some sellers, however, may disagree with our calculation of value and others may have found investments that they consider more attractive than Berkshire shares. Some of that second group will be right: There are unquestionably many stocks that will deliver far greater gains than ours.

In addition, certain shareholders will simply decide it's time for them or their families to become net consumers rather than continuing to build capital. Charlie and I have no current interest in joining that group. Perhaps we will become big spenders in our old age.

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For 54 years our managerial decisions at Berkshire have been made from the viewpoint of the shareholders who are staying, not those who are leaving. Consequently, Charlie and I have *never* focused on current-quarter results.

Berkshire, in fact, may be the only company in the Fortune 500 that does not prepare monthly earnings reports or balance sheets. I, of course, regularly view the monthly financial reports of most subsidiaries. But Charlie and I learn of Berkshire's overall earnings and financial position only on a quarterly basis.

Furthermore, Berkshire has no company-wide budget (though many of our subsidiaries find one useful). Our lack of such an instrument means that the parent company has *never* had a quarterly "number" to hit. Shunning the use of this bogey sends an important message to our many managers, reinforcing the culture we prize.

Over the years, Charlie and I have seen all sorts of bad corporate behavior, both accounting and operational, induced by the desire of management to meet Wall Street expectations. What starts as an "innocent" fudge in order to not disappoint "the Street" – say, trade-loading at quarter-end, turning a blind eye to rising insurance losses, or drawing down a "cookie-jar" reserve – can become the first step toward full-fledged fraud. Playing with the numbers "just this once" may well be the CEO's intent; it's seldom the end result. And if it's okay for the boss to cheat a little, it's easy for subordinates to rationalize similar behavior.

At Berkshire, our audience is neither analysts nor commentators: Charlie and I are working for our shareholder-partners. The numbers that flow up to us will be the ones we send on to you.

Non-Insurance Operations – From Lollipops to Locomotives

Let's now look further at Berkshire's most valuable grove – our collection of non-insurance businesses – keeping in mind that we do not wish to unnecessarily hand our competitors information that might be useful to them. Additional details about individual operations can be found on pages K-5 – K-22 and pages K-40 – K-51.

Viewed as a group, these businesses earned pre-tax income in 2018 of $20.8 billion, a 24% increase over 2017. Acquisitions we made in 2018 delivered only a trivial amount of that gain.

I will stick with pre-tax figures in this discussion. But our after-tax gain in 2018 from these businesses was *far* greater – 47% – thanks in large part to the cut in the corporate tax rate that became effective at the beginning of that year. Let's look at why the impact was so dramatic.

Begin with an economic reality: Like it or not, the U.S. Government "owns" an interest in Berkshire's earnings of a size determined by Congress. In effect, our country's Treasury Department holds a special class of our stock – call this holding the AA shares – that receives large "dividends" (that is, tax payments) from Berkshire. In 2017, as in many years before, the corporate tax rate was 35%, which meant that the Treasury was doing very well with its AA shares. Indeed, the Treasury's "stock," which was paying nothing when we took over in 1965, had evolved into a holding that delivered billions of dollars annually to the federal government.

Last year, however, 40% of the government's "ownership" (14/35^{ths}) was returned to Berkshire – free of charge – when the corporate tax rate was reduced to 21%. Consequently, our "A" and "B" shareholders received a major boost in the earnings attributable to *their* shares.

This happening materially increased the intrinsic value of the Berkshire shares you and I own. The same dynamic, moreover, enhanced the intrinsic value of almost all of the stocks Berkshire holds.

Those are the headlines. But there are other factors to consider that tempered our gain. For example, the tax benefits garnered by our large utility operation get passed along to its customers. Meanwhile, the tax rate applicable to the substantial dividends we receive from domestic corporations is little changed at about 13%. (This lower rate has long been logical because our investees have already paid tax on the earnings that they pay to us.) Overall, however, the new law made our businesses and the stocks we own *considerably* more valuable.

Which suggests that we return to the performance of our non-insurance businesses. Our two towering redwoods in this grove are BNSF and Berkshire Hathaway Energy (90.9% owned). Combined, they earned $9.3 billion before tax last year, up 6% from 2017. You can read more about these businesses on pages K-5 – K-10 and pages K-40 – K-45.

Our next five non-insurance subsidiaries, as ranked by earnings (but presented here alphabetically), Clayton Homes, International Metalworking, Lubrizol, Marmon and Precision Castparts, had aggregate pre-tax income in 2018 of $6.4 billion, up from the $5.5 billion these companies earned in 2017.

The next five, similarly ranked and listed (Forest River, Johns Manville, MiTek, Shaw and TTI) earned $2.4 billion pre-tax last year, up from $2.1 billion in 2017.

The remaining non-insurance businesses that Berkshire owns – and there are many – had pre-tax income of $3.6 billion in 2018 vs. $3.3 billion in 2017.

Insurance, "Float," and the Funding of Berkshire

Our property/casualty ("P/C") insurance business – our fifth grove – has been the engine propelling Berkshire's growth since 1967, the year we acquired National Indemnity and its sister company, National Fire & Marine, for $8.6 million. Today, National Indemnity is the largest property/casualty company in the world as measured by net worth.

One reason we were attracted to the P/C business was the industry's business model: P/C insurers receive premiums upfront and pay claims later. In extreme cases, such as claims arising from exposure to asbestos, or severe workplace accidents, payments can stretch over many decades.

This collect-now, pay-later model leaves P/C companies holding large sums – money we call "float" – that will eventually go to others. Meanwhile, insurers get to invest this float for their own benefit. Though individual policies and claims come and go, the amount of float an insurer holds usually remains fairly stable in relation to premium volume. Consequently, as our business grows, so does our float. And *how* it has grown, as the following table shows:

Year	*Float (in millions)**
1970	$ 39
1980	237
1990	1,632
2000	27,871
2010	65,832
2018	122,732

* *Includes float arising from life, annuity and health insurance businesses*.

We may in time experience a decline in float. If so, the decline will be *very* gradual – at the outside no more than 3% in any year. The nature of our insurance contracts is such that we can *never* be subject to immediate or near-term demands for sums that are of significance to our cash resources. That structure is by design and is a key component in the unequaled financial strength of our insurance companies. That strength will *never* be compromised.

If our premiums exceed the total of our expenses and eventual losses, our insurance operation registers an underwriting profit that adds to the investment income the float produces. When such a profit is earned, we enjoy the use of free money – and, better yet, get *paid* for holding it.

Unfortunately, the wish of all insurers to achieve this happy result creates intense competition, so vigorous indeed that it sometimes causes the P/C industry as a whole to operate at a significant underwriting *loss*. That loss, in effect, is what the industry pays to hold its float. Competitive dynamics almost guarantee that the insurance industry, despite the float income all its companies enjoy, will continue its dismal record of earning subnormal returns on tangible net worth as compared to other American businesses.

Nevertheless, I like our own prospects. Berkshire's unrivaled financial strength allows us far more flexibility in investing our float than that generally available to P/C companies. The many alternatives available to us are always an advantage and occasionally offer major opportunities. When other insurers are constrained, our choices expand.

Moreover, our P/C companies have an excellent underwriting record. Berkshire has now operated at an underwriting profit for 15 of the past 16 years, the exception being 2017, when our pre-tax loss was $3.2 billion. For the entire 16-year span, our pre-tax gain totaled $27 billion, of which $2 billion was recorded in 2018.

That record is no accident: Disciplined risk evaluation is the daily focus of our insurance managers, who know that the benefits of float can be drowned by poor underwriting results. All insurers give that message lip service. At Berkshire it is a religion, Old Testament style.

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In most cases, the funding of a business comes from two sources – debt and equity. At Berkshire, we have two additional arrows in the quiver to talk about, but let's first address the conventional components.

We use debt sparingly. Many managers, it should be noted, will disagree with this policy, arguing that significant debt juices the returns for equity owners. And these more venturesome CEOs will be right *most* of the time.

At rare and unpredictable intervals, however, credit vanishes and debt becomes financially fatal. A Russian-roulette equation – usually win, occasionally die – may make financial sense for someone who gets a piece of a company's upside but does not share in its downside. But that strategy would be madness for Berkshire. Rational people don't risk what they have and need for what they don't have and don't need.

Most of the debt you see on our consolidated balance sheet – see page K-65 – resides at our railroad and energy subsidiaries, both of them asset-heavy companies. During recessions, the cash generation of these businesses remains bountiful. The debt they use is both appropriate for their operations and *not* guaranteed by Berkshire.

Our level of equity capital is a different story: Berkshire's $349 billion is unmatched in corporate America. By retaining all earnings for a very long time, and allowing compound interest to work its magic, we have amassed funds that have enabled us to purchase and develop the valuable groves earlier described. Had we instead followed a 100% payout policy, we would still be working with the $22 *million* with which we began fiscal 1965.

Beyond using debt and equity, Berkshire has benefitted in a major way from two less-common sources of corporate funding. The larger is the float I have described. So far, those funds, though they are recorded as a huge net *liability* on our balance sheet, have been of more utility to us than an equivalent amount of equity. That's because they have usually been accompanied by underwriting earnings. In effect, we have been *paid* in most years for holding and using other people's money.

As I have often done before, I will emphasize that this happy outcome is far from a sure thing: Mistakes in assessing insurance risks can be huge and can take many years to surface. (Think asbestos.) A major catastrophe that will dwarf hurricanes Katrina and Michael *will* occur – perhaps tomorrow, perhaps many decades from now. "The Big One" may come from a traditional source, such as a hurricane or earthquake, or it may be a total surprise involving, say, a cyber attack having disastrous consequences beyond anything insurers now contemplate. When such a mega-catastrophe strikes, we will get our share of the losses and they will be big – *very* big. Unlike many other insurers, however, we will be looking to add business the next day.

The final funding source – which again Berkshire possesses to an unusual degree – is deferred income taxes. These are liabilities that we will eventually pay but that are meanwhile interest-free.

As I indicated earlier, about $14.7 billion of our $50.5 billion of deferred taxes arises from the unrealized gains in our equity holdings. These liabilities are accrued in our financial statements at the current 21% corporate tax rate but will be paid at the rates prevailing when our investments are sold. Between now and then, we in effect have an interest-free "loan" that allows us to have more money working for us in equities than would otherwise be the case.

A further $28.3 billion of deferred tax results from our being able to accelerate the depreciation of assets such as plant and equipment in calculating the tax we must currently pay. The front-ended savings in taxes that we record gradually reverse in future years. We regularly purchase additional assets, however. As long as the present tax law prevails, this source of funding should trend upward.

Over time, Berkshire's funding base – that's the right-hand side of our balance sheet – should grow, primarily through the earnings we retain. Our job is to put the money retained to good use on the left-hand side, by adding attractive assets.

GEICO and Tony Nicely

That title says it all: The company and the man are inseparable.

Tony joined GEICO in 1961 at the age of 18; I met him in the mid-1970s. At that time, GEICO, after a four-decade record of both rapid growth and outstanding underwriting results, suddenly found itself near bankruptcy. A recently-installed management had grossly underestimated GEICO's loss costs and consequently underpriced its product. It would take many months until those loss-generating policies on GEICO's books – there were no less than 2.3 million of them – would expire and could then be repriced. The company's net worth in the meantime was rapidly approaching zero.

In 1976, Jack Byrne was brought in as CEO to rescue GEICO. Soon after his arrival, I met him, concluded that he was the perfect man for the job, and began to aggressively buy GEICO shares. Within a few months, Berkshire bought about ⅓ of the company, a portion that later grew to roughly ½ without our spending a dime. That stunning accretion occurred because GEICO, after recovering its health, consistently repurchased its shares. All told, this half-interest in GEICO cost Berkshire $47 million, about what you might pay today for a trophy apartment in New York.

Let's now fast-forward 17 years to 1993, when Tony Nicely was promoted to CEO. At that point, GEICO's reputation and profitability had been restored – but not its growth. Indeed, at yearend 1992 the company had only 1.9 million auto policies on its books, far less than its pre-crisis high. In sales volume among U.S. auto insurers, GEICO then ranked an undistinguished seventh.

Late in 1995, after Tony had re-energized GEICO, Berkshire made an offer to buy the remaining 50% of the company for $2.3 billion, about 50 times what we had paid for the first half (and people say I never pay up!). Our offer was successful and brought Berkshire a wonderful, but underdeveloped, company and an equally wonderful CEO, who would move GEICO forward beyond my dreams.

GEICO is now America's Number Two auto insurer, with sales 1,200% greater than it recorded in 1995. Underwriting profits have totaled $15.5 billion (pre-tax) since our purchase, and float available for investment has grown from $2.5 billion to $22.1 billion.

By my estimate, Tony's management of GEICO has increased Berkshire's intrinsic value by more than $50 billion. On top of that, he is a model for everything a manager should be, helping his 40,000 associates to identify and polish abilities they didn't realize they possessed.

Last year, Tony decided to retire as CEO, and on June 30th he turned that position over to Bill Roberts, his long-time partner. I've known and watched Bill operate for several decades, and once again Tony made the right move. Tony remains Chairman and will be helpful to GEICO for the rest of his life. He's incapable of doing less.

All Berkshire shareholders owe Tony their thanks. *I* head the list.

Investments

Below we list our fifteen common stock investments that at yearend had the largest market value. We exclude our Kraft Heinz holding – 325,442,152 shares – because Berkshire is part of a control group and therefore must account for this investment on the "equity" method. On its balance sheet, Berkshire carries its Kraft Heinz holding at a GAAP figure of $13.8 billion, an amount reduced by our share of the large write-off of intangible assets taken by Kraft Heinz in 2018. At yearend, our Kraft Heinz holding had a market value of $14 billion and a cost basis of $9.8 billion.

			12/31/18	
*Shares**	*Company*	*Percentage of Company Owned*	*Cost***	*Market*
			(in millions)	
151,610,700	American Express Company	17.9	$ 1,287	$ 14,452
255,300,329	Apple Inc.	5.4	36,044	40,271
918,919,000	Bank of America Corp.	9.5	11,650	22,642
84,488,751	The Bank of New York Mellon Corp.	8.8	3,860	3,977
6,789,054	Charter Communications, Inc.	3.0	1,210	1,935
400,000,000	The Coca-Cola Company	9.4	1,299	18,940
65,535,000	Delta Air Lines, Inc.	9.6	2,860	3,270
18,784,698	The Goldman Sachs Group, Inc.	4.9	2,380	3,138
50,661,394	JPMorgan Chase & Co.	1.5	5,605	4,946
24,669,778	Moody's Corporation	12.9	248	3,455
47,890,899	Southwest Airlines Co.	8.7	2,005	2,226
21,938,642	United Continental Holdings Inc.	8.1	1,195	1,837
146,346,999	U.S. Bancorp	9.1	5,548	6,688
43,387,980	USG Corporation	31.0	836	1,851
449,349,102	Wells Fargo & Company	9.8	10,639	20,706
	Others		16,201	22,423
	Total Common Stocks Carried at Market		$ 102,867	$ 172,757

* Excludes shares held by pension funds of Berkshire subsidiaries.

** This is our actual purchase price and also our tax basis.

Charlie and I do *not* view the $172.8 billion detailed above as a collection of ticker symbols – a financial dalliance to be terminated because of downgrades by "the Street," expected Federal Reserve actions, possible political developments, forecasts by economists or whatever else might be the subject *du jour*.

What we see in our holdings, rather, is an assembly of companies that we partly own and that, on a weighted basis, are earning about *20%* on the net tangible equity capital required to run their businesses. These companies, also, earn their profits without employing excessive levels of debt.

Returns of that order by large, established and understandable businesses are remarkable under any circumstances. They are truly mind-blowing when compared against the return that many investors have accepted on bonds over the last decade – 3% or less on 30-year U.S. Treasury bonds, for example.

On occasion, a ridiculously-high purchase price for a given stock will cause a splendid business to become a poor investment – if not permanently, at least for a painfully long period. Over time, however, investment performance converges with business performance. And, as I will next spell out, the record of American business has been extraordinary.

The American Tailwind

On March 11th, it will be 77 years since I first invested in an American business. The year was 1942, I was 11, and I went all in, investing $114.75 I had begun accumulating at age six. What I bought was three shares of Cities Service preferred stock. I had become a capitalist, and it felt good.

Let's now travel back through the two 77-year periods that preceded my purchase. That leaves us starting in 1788, a year prior to George Washington's installation as our first president. Could anyone then have imagined what their new country would accomplish in only three 77-year lifetimes?

During the two 77-year periods prior to 1942, the United States had grown from four million people – about ½ of 1% of the world's population – into the most powerful country on earth. In that spring of 1942, though, it faced a crisis: The U.S. and its allies were suffering heavy losses in a war that we had entered only three months earlier. Bad news arrived daily.

Despite the alarming headlines, almost all Americans believed on that March 11th that the war would be won. Nor was their optimism limited to that victory. Leaving aside congenital pessimists, Americans believed that their children and generations beyond would live far better lives than they themselves had led.

The nation's citizens understood, of course, that the road ahead would not be a smooth ride. It never had been. Early in its history our country was tested by a Civil War that killed 4% of all American males and led President Lincoln to openly ponder whether "a nation so conceived and so dedicated could long endure." In the 1930s, America suffered through the Great Depression, a punishing period of massive unemployment.

Nevertheless, in 1942, when I made my purchase, the nation expected post-war growth, a belief that proved to be well-founded. In fact, the nation's achievements can best be described as breathtaking.

Let's put numbers to that claim: If my $114.75 had been invested in a no-fee S&P 500 index fund, and all dividends had been reinvested, my stake would have grown to be worth (pre-taxes) $606,811 on January 31, 2019 (the latest data available before the printing of this letter). That is a gain of *5,288 for 1*. Meanwhile, a $1 million investment by a tax-free institution of that time – say, a pension fund or college endowment – would have grown to about $5.3 *billion*.

Let me add one additional calculation that I believe will shock you: If that hypothetical institution had paid only *1%* of assets annually to various "helpers," such as investment managers and consultants, its gain would have been *cut in half*, to $2.65 billion. That's what happens over 77 years when the 11.8% annual return actually achieved by the S&P 500 is recalculated at a 10.8% rate.

Those who regularly preach doom because of government budget deficits (as I regularly did myself for many years) might note that our country's national debt has increased roughly 400-fold during the last of my 77-year periods. That's 40,000%! Suppose you had foreseen this increase and panicked at the prospect of runaway deficits and a worthless currency. To "protect" yourself, you might have eschewed stocks and opted instead to buy 3¼ ounces of gold with your $114.75.

And what would that supposed protection have delivered? You would now have an asset worth about $4,200, *less than 1% of what* would have been realized from a simple unmanaged investment in American business. The magical metal was no match for the American mettle.

Our country's almost unbelievable prosperity has been gained in a bipartisan manner. Since 1942, we have had seven Republican presidents and seven Democrats. In the years they served, the country contended at various times with a long period of viral inflation, a 21% prime rate, several controversial and costly wars, the resignation of a president, a pervasive collapse in home values, a paralyzing financial panic and a host of other problems. All engendered scary headlines; all are now history.

Christopher Wren, architect of St. Paul's Cathedral, lies buried within that London church. Near his tomb are posted these words of description (translated from Latin): "If you would seek my monument, look around you." Those skeptical of America's economic playbook should heed his message.

In 1788 – to go back to our starting point – there really wasn't much here *except* for a small band of ambitious people and an embryonic governing framework aimed at turning their dreams into reality. Today, the Federal Reserve estimates our household wealth at $108 *trillion*, an amount almost impossible to comprehend.

Remember, earlier in this letter, how I described retained earnings as having been the key to Berkshire's prosperity? So it has been with America. In the nation's accounting, the comparable item is labeled "savings." And save we have. If our forefathers had instead consumed all they produced, there would have been no investment, no productivity gains and no leap in living standards.

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Charlie and I happily acknowledge that much of Berkshire's success has simply been a product of what I think should be called *The American Tailwind*. It is beyond arrogance for American businesses or individuals to boast that they have "done it alone." The tidy rows of simple white crosses at Normandy should shame those who make such claims.

There are also many other countries around the world that have bright futures. About that, we should rejoice: Americans will be both more prosperous and safer if *all* nations thrive. At Berkshire, we hope to invest significant sums across borders.

Over the next 77 years, however, the major source of our gains will almost certainly be provided by The American Tailwind. We are lucky – gloriously lucky – to have that force at our back.

The Annual Meeting

Berkshire's 2019 annual meeting will take place on Saturday, May 4th. If you are thinking about attending – and Charlie and I hope you come – check out the details on pages A-2 – A-3. They describe the same schedule we've followed for some years.

If you can't join us in Omaha, attend via Yahoo's webcast. Andy Serwer and his Yahoo associates do an outstanding job, both in covering the entire meeting and interviewing many Berkshire managers, celebrities, financial experts and shareholders from the U.S. and abroad. The world's knowledge of what goes on in Omaha the first Saturday of every May has grown dramatically since Yahoo came on board. Its coverage begins at 8:45 a.m. CDT and provides Mandarin translation.

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For 54 years, Charlie and I have loved our jobs. Daily, we do what we find interesting, working with people we like and trust. And now our new management structure has made our lives even more enjoyable.

With the whole ensemble – that is, with Ajit and Greg running operations, a great collection of businesses, a Niagara of cash-generation, a cadre of talented managers and a rock-solid culture – your company is in good shape for whatever the future brings.

February 23, 2019

Warren E. Buffett
Chairman of the Board

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Market Value of Berkshire	Annual Percentage Change in S&P 500 with Dividends Included
1965	49.5	10.0
1966	(3.4)	(11.7)
1967	13.3	30.9
1968	77.8	11.0
1969	19.4	(8.4)
1970	(4.6)	3.9
1971	80.5	14.6
1972	8.1	18.9
1973	(2.5)	(14.8)
1974	(48.7)	(26.4)
1975	2.5	37.2
1976	129.3	23.6
1977	46.8	(7.4)
1978	14.5	6.4
1979	102.5	18.2
1980	32.8	32.3
1981	31.8	(5.0)
1982	38.4	21.4
1983	69.0	22.4
1984	(2.7)	6.1
1985	93.7	31.6
1986	14.2	18.6
1987	4.6	5.1
1988	59.3	16.6
1989	84.6	31.7
1990	(23.1)	(3.1)
1991	35.6	30.5
1992	29.8	7.6
1993	38.9	10.1
1994	25.0	1.3
1995	57.4	37.6
1996	6.2	23.0
1997	34.9	33.4
1998	52.2	28.6
1999	(19.9)	21.0
2000	26.6	(9.1)
2001	6.5	(11.9)
2002	(3.8)	(22.1)
2003	15.8	28.7
2004	4.3	10.9
2005	0.8	4.9
2006	24.1	15.8
2007	28.7	5.5
2008	(31.8)	(37.0)
2009	2.7	26.5
2010	21.4	15.1
2011	(4.7)	2.1
2012	16.8	16.0
2013	32.7	32.4
2014	27.0	13.7
2015	(12.5)	1.4
2016	23.4	12.0
2017	21.9	21.8
2018	2.8	(4.4)
2019	11.0	31.5
Compounded Annual Gain – 1965-2019	20.3%	10.0%
Overall Gain – 1964-2019	2,744,062%	19,784%

Note: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

To the Shareholders of Berkshire Hathaway Inc.:

Berkshire earned $81.4 billion in 2019 according to generally accepted accounting principles (commonly called "GAAP"). The components of that figure are $24 billion of operating earnings, $3.7 billion of realized capital gains and a $53.7 billion gain from an increase in the amount of net *unrealized* capital gains that exist in the stocks we hold. Each of those components of earnings is stated on an after-tax basis.

That $53.7 billion gain requires comment. It resulted from a new GAAP rule, imposed in 2018, that requires a company holding equity securities to include in earnings the net change in the *unrealized* gains and losses of those securities. As we stated in last year's letter, neither Charlie Munger, my partner in managing Berkshire, nor I agree with that rule.

The adoption of the rule by the accounting profession, in fact, was a monumental shift in its own thinking. Before 2018, GAAP insisted – with an exception for companies whose business was to trade securities – that unrealized *gains* within a portfolio of stocks were *never* to be included in earnings and unrealized *losses* were to be included *only* if they were deemed "other than temporary." Now, Berkshire must enshrine in each quarter's bottom line – a key item of news for many investors, analysts and commentators – every up and down movement of the stocks it owns, however capricious those fluctuations may be.

Berkshire's 2018 and 2019 years glaringly illustrate the argument we have with the new rule. In 2018, a down year for the stock market, our net unrealized gains *decreased* by $20.6 billion, and we therefore reported GAAP earnings of only $4 billion. In 2019, *rising* stock prices increased net unrealized gains by the aforementioned $53.7 billion, pushing GAAP earnings to the $81.4 billion reported at the beginning of this letter. Those market gyrations led to a crazy 1,900% increase in GAAP earnings!

Meanwhile, in what we might call the real world, as opposed to accounting-land, Berkshire's equity holdings averaged about $200 billion during the two years, and the *intrinsic value* of the stocks we own grew steadily and substantially throughout the period.

Charlie and I urge you to focus on operating earnings – which were little changed in 2019 – and to ignore both quarterly and annual gains or losses from investments, whether these are realized or unrealized.

Our advising that *in no way* diminishes the importance of these investments to Berkshire. Over time, Charlie and I expect our equity holdings – as a group – to deliver *major* gains, albeit in an unpredictable and highly irregular manner. To see why we are optimistic, move on to the next discussion.

The Power of Retained Earnings

In 1924, Edgar Lawrence Smith, an obscure economist and financial advisor, wrote *Common Stocks as Long Term Investments*, a slim book that changed the investment world. Indeed, writing the book changed Smith himself, forcing him to reassess his own investment beliefs.

Going in, he planned to argue that stocks would perform better than bonds during inflationary periods and that bonds would deliver superior returns during deflationary times. That seemed sensible enough. But Smith was in for a shock.

His book began, therefore, with a confession: "These studies are the record of a failure – the failure of facts to sustain a preconceived theory." Luckily for investors, that failure led Smith to think more deeply about how stocks should be evaluated.

For the crux of Smith's insight, I will quote an early reviewer of his book, none other than John Maynard Keynes: "I have kept until last what is perhaps Mr. Smith's most important, and is certainly his most novel, point. Well-managed industrial companies do not, as a rule, distribute to the shareholders the whole of their earned profits. In good years, if not in all years, they retain a part of their profits and put them back into the business. Thus *there is an element of compound interest* (Keynes' italics) operating in favour of a sound industrial investment. Over a period of years, the real value of the property of a sound industrial is increasing at compound interest, quite apart from the dividends paid out to the shareholders."

And with that sprinkling of holy water, Smith was no longer obscure.

It's difficult to understand why retained earnings were unappreciated by investors before Smith's book was published. After all, it was no secret that mind-boggling wealth had earlier been amassed by such titans as Carnegie, Rockefeller and Ford, all of whom had retained a huge portion of their business earnings to fund growth and produce ever-greater profits. Throughout America, also, there had long been small-time capitalists who became rich following the same playbook.

Nevertheless, when business ownership was sliced into small pieces – "stocks" – buyers in the pre-Smith years usually thought of their shares as a short-term gamble on market movements. Even at their best, stocks were considered speculations. *Gentlemen* preferred bonds.

Though investors were slow to wise up, the math of retaining and reinvesting earnings is now well understood. Today, school children learn what Keynes termed "novel": combining savings with compound interest works wonders.

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At Berkshire, Charlie and I have long focused on using retained earnings advantageously. Sometimes this job has been easy – at other times, more than difficult, particularly when we began working with huge and ever-growing sums of money.

In our deployment of the funds we retain, we first seek to invest in the many and diverse businesses we already own. During the past decade, Berkshire's depreciation charges have aggregated $65 billion whereas the company's *internal* investments in property, plant and equipment have totaled $121 billion. Reinvestment in productive operational assets will forever remain our top priority.

In addition, we constantly seek to buy new businesses that meet three criteria. First, they must earn good returns on the net tangible capital required in their operation. Second, they must be run by able and honest managers. Finally, they must be available at a sensible price.

When we spot such businesses, our preference would be to buy 100% of them. But the opportunities to make major acquisitions possessing our required attributes are rare. Far more often, a fickle stock market serves up opportunities for us to buy large, *but non-controlling*, positions in publicly-traded companies that meet our standards.

Whichever way we go – controlled companies or only a major stake by way of the stock market – Berkshire's financial results from the commitment will in large part be determined by the future earnings of the business we have purchased. Nonetheless, there is between the two investment approaches a hugely important accounting difference, essential for you to understand.

In our controlled companies, (defined as those in which Berkshire owns more than 50% of the shares), the earnings of each business flow directly into the operating earnings that we report to you. What you see is what you get.

In the non-controlled companies, in which we own marketable stocks, *only* the dividends that Berkshire receives are recorded in the operating earnings we report. The retained earnings? They're working hard and creating much added value, but *not* in a way that deposits those gains directly into Berkshire's reported earnings.

At almost all major companies other than Berkshire, investors would *not* find what we'll call this "non-recognition of earnings" important. For us, however, it is a standout omission, of a magnitude that we lay out for you below.

Here, we list our 10 largest stock-market holdings of businesses. The list distinguishes between their earnings that are reported to you under GAAP accounting – these are the dividends Berkshire receives from those 10 investees – and our share, so to speak, of the earnings the investees retain and put to work. Normally, those companies use retained earnings to expand their business and increase its efficiency. Or sometimes they use those funds to repurchase significant portions of their own stock, an act that enlarges Berkshire's share of the company's future earnings.

		Berkshire's Share (in millions)	
Company	*Yearend Ownership*	*Dividends(1)*	*Retained Earnings(2)*
American Express	18.7%	$ 261	$ 998
Apple	5.7%	773	2,519
Bank of America	10.7%	682	2,167
Bank of New York Mellon	9.0%	101	288
Coca-Cola	9.3%	640	194
Delta Airlines	11.0%	114	416
J.P. Morgan Chase	1.9%	216	476
Moody's	13.1%	55	137
U.S. Bancorp	9.7%	251	407
Wells Fargo	8.4%	705	730
Total		$3,798	$8,332

(1) Based on current annual rate.
(2) Based on 2019 earnings minus common and preferred dividends paid.

Obviously, the realized gains we will eventually record from partially owning each of these companies will not neatly correspond to "our" share of their retained earnings. Sometimes, alas, retentions produce nothing. But both logic and our past experience indicate that from the *group* we will realize capital gains at least equal to – and probably better than – the earnings of ours that they retained. (When we sell shares and realize gains, we will pay income tax on the gain at whatever rate then prevails. Currently, the federal rate is 21%.)

It is certain that Berkshire's rewards from these 10 companies, as well as those from our many other equity holdings, will manifest themselves in a highly irregular manner. Periodically, there will be losses, sometimes company-specific, sometimes linked to stock-market swoons. At other times – last year was one of those – our gain will be outsized. Overall, the retained earnings of our investees are certain to be of *major* importance in the growth of Berkshire's value.

Mr. Smith got it right.

Non-Insurance Operations

Tom Murphy, a valued director of Berkshire and an all-time great among business managers, long ago gave me some important advice about acquisitions: "To achieve a reputation as a good manager, just be sure you buy good businesses."

Over the years Berkshire has acquired many dozens of companies, all of which I initially regarded as "good businesses." Some, however, proved disappointing; more than a few were outright disasters. A reasonable number, on the other hand, have exceeded my hopes.

In reviewing my uneven record, I've concluded that acquisitions are similar to marriage: They start, of course, with a joyful wedding – but then reality tends to diverge from pre-nuptial expectations. Sometimes, wonderfully, the new union delivers bliss beyond either party's hopes. In other cases, disillusionment is swift. Applying those images to corporate acquisitions, I'd have to say it is usually the buyer who encounters unpleasant surprises. It's easy to get dreamy-eyed during corporate courtships.

Pursuing that analogy, I would say that our marital record remains largely acceptable, with all parties happy with the decisions they made long ago. Some of our tie-ups have been positively idyllic. A meaningful number, however, have caused me all too quickly to wonder what I was thinking when I proposed.

Fortunately, the fallout from many of my errors has been reduced by a characteristic shared by most businesses that disappoint: As the years pass, the "poor" business tends to stagnate, thereupon entering a state in which its operations require an ever-smaller *percentage* of Berkshire's capital. Meanwhile, our "good" businesses often tend to grow and find opportunities for investing additional capital at attractive rates. Because of these contrasting trajectories, the assets employed at Berkshire's winners gradually become an expanding portion of our total capital.

As an extreme example of those financial movements, witness Berkshire's original textile business. When we acquired control of the company in early 1965, this beleaguered operation required nearly *all* of Berkshire's capital. For some time, therefore, Berkshire's non-earning textile assets were a huge drag on our overall returns. Eventually, though, we acquired a spread of "good" businesses, a shift that by the early 1980s caused the dwindling textile operation to employ only a tiny portion of our capital.

Today, we have most of your money deployed in controlled businesses that achieve good-to-excellent returns on the net tangible assets each requires for its operations. Our insurance business has been the superstar. That operation has special characteristics that give it a unique metric for calibrating success, one unfamiliar to many investors. We will save that discussion for the next section.

In the paragraphs that follow, we group our wide array of non-insurance businesses by size of earnings, *after* interest, depreciation, taxes, non-cash compensation, restructuring charges – all of those pesky, but very real, costs that CEOs and Wall Street sometimes urge investors to ignore. Additional information about these operations can be found on pages K-6 – K-21 and pages K-40 – K-52.

Our BNSF railroad and Berkshire Hathaway Energy ("BHE") – the two lead dogs of Berkshire's non-insurance group – earned a combined $8.3 billion in 2019 (including only our 91% share of BHE), an increase of 6% from 2018.

Our next five non-insurance subsidiaries, as ranked by earnings (but presented here alphabetically), Clayton Homes, International Metalworking, Lubrizol, Marmon and Precision Castparts, had aggregate earnings in 2019 of $4.8 billion, little changed from what these companies earned in 2018.

The next five, similarly ranked and listed (Berkshire Hathaway Automotive, Johns Manville, NetJets, Shaw and TTI) earned $1.9 billion last year, up from the $1.7 billion earned by this tier in 2018.

The remaining non-insurance businesses that Berkshire owns – and there are many – had aggregate earnings of $2.7 billion in 2019, down from $2.8 billion in 2018.

Our total net income in 2019 from the non-insurance businesses we control amounted to $17.7 billion, an increase of 3% from the $17.2 billion this group earned in 2018. Acquisitions and dispositions had almost no net effect on these results.

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I must add one final item that underscores the wide scope of Berkshire's operations. Since 2011, we have owned Lubrizol, an Ohio-based company that produces and markets oil additives throughout the world. On September 26, 2019, a fire originating at a small next-door operation spread to a large French plant owned by Lubrizol.

The result was significant property damage and a major disruption in Lubrizol's business. Even so, both the company's property loss and business-interruption loss will be mitigated by substantial insurance recoveries that Lubrizol will receive.

But, as the late Paul Harvey was given to saying in his famed radio broadcasts, "Here's the rest of the story." One of the largest insurers of Lubrizol was a company owned by . . . uh, Berkshire.

In Matthew 6:3, the Bible instructs us to "Let not the left hand know what the right hand doeth." Your chairman has clearly behaved as ordered.

Property/Casualty Insurance

Our property/casualty ("P/C") insurance business has been the engine propelling Berkshire's growth since 1967, the year we acquired National Indemnity and its sister company, National Fire & Marine, for $8.6 million. Today, National Indemnity is the largest P/C company in the world as measured by net worth. Insurance is a business of promises, and Berkshire's ability to honor its commitments is unmatched.

One reason we were attracted to the P/C business was the industry's business model: P/C insurers receive premiums upfront and pay claims later. In extreme cases, such as claims arising from exposure to asbestos, or severe workplace accidents, payments can stretch over many decades.

This collect-now, pay-later model leaves P/C companies holding large sums – money we call "float" – that will eventually go to others. Meanwhile, insurers get to invest this float for their own benefit. Though individual policies and claims come and go, the amount of float an insurer holds usually remains fairly stable in relation to premium volume. Consequently, as our business grows, so does our float. And *how* it has grown, as the following table shows:

Year	*Float (in millions)*
1970	$ 39
1980	237
1990	1,632
2000	27,871
2010	65,832
2018	122,732
2019	129,423

We may in time experience a decline in float. If so, the decline will be *very* gradual – at the outside no more than 3% in any year. The nature of our insurance contracts is such that we can *never* be subject to immediate or near-term demands for sums that are of significance to our cash resources. That structure is by design and is a key component in the unequaled financial strength of our insurance companies. That strength will *never* be compromised.

If our premiums exceed the total of our expenses and eventual losses, our insurance operation registers an underwriting profit that adds to the investment income the float produces. When such a profit is earned, we enjoy the use of free money – and, better yet, get *paid* for holding it.

For the P/C industry as a whole, the financial value of float is now far less than it was for many years. That's because the standard investment strategy for almost all P/C companies is heavily – and *properly* – skewed toward high-grade bonds. Changes in interest rates therefore matter enormously to these companies, and during the last decade the bond market has offered pathetically low rates.

Consequently, insurers suffered, as year by year they were forced – by maturities or issuer-call provisions – to recycle their "old" investment portfolios into new holdings providing much lower yields. Where once these insurers could safely earn 5 cents or 6 cents on each dollar of float, they now take in only 2 cents or 3 cents (or even less if their operations are concentrated in countries mired in the never-never land of negative rates).

Some insurers may try to mitigate their loss of revenue by buying lower-quality bonds or non-liquid "alternative" investments promising higher yields. But those are dangerous games and activities that most institutions are ill-equipped to play.

Berkshire's situation is more favorable than that of insurers in general. Most important, our unrivaled mountain of capital, abundance of cash and a huge and diverse stream of non-insurance earnings allow us far more investment flexibility than is generally available to other companies in the industry. The many choices open to us are always advantageous – and sometimes have presented us with major opportunities.

Our P/C companies have meanwhile had an excellent underwriting record. Berkshire has now operated at an underwriting profit for 16 of the last 17 years, the exception being 2017, when our pre-tax loss was a whopping $3.2 billion. For the entire 17-year span, our pre-tax gain totaled $27.5 billion, of which $400 million was recorded in 2019.

That record is no accident: Disciplined risk evaluation is the daily focus of our insurance managers, who know that the rewards of float can be drowned by poor underwriting results. All insurers give that message lip service. At Berkshire it is a religion, Old Testament style.

As I have repeatedly done in the past, I will emphasize now that happy outcomes in insurance are far from a sure thing: We will most certainly not have an underwriting profit in 16 of the next 17 years. Danger always lurks.

Mistakes in assessing insurance risks can be huge and can take many years – even decades – to surface and ripen. (Think asbestos.) A major catastrophe that will dwarf hurricanes Katrina and Michael *will* occur – perhaps tomorrow, perhaps many decades from now. "The Big One" may come from a traditional source, such as wind or earthquake, or it may be a total surprise involving, say, a cyber attack having disastrous consequences beyond anything insurers now contemplate. When such a mega-catastrophe strikes, Berkshire will get its share of the losses and they will be big – *very* big. Unlike many other insurers, however, handling the loss will not come close to straining our resources, and we will be eager to *add* to our business the next day.

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Close your eyes for a moment and try to envision a locale that might spawn a dynamic P/C insurer. New York? London? Silicon Valley?

How about Wilkes-Barre?

Late in 2012, Ajit Jain, the invaluable manager of our insurance operations, called to tell me that he was buying a tiny company – GUARD Insurance Group – in that small Pennsylvania city for $221 million (roughly its net worth at the time). He added that Sy Foguel, GUARD's CEO, was going to be a star at Berkshire. Both GUARD and Sy were new names to me.

Bingo and bingo: In 2019, GUARD had premium volume of $1.9 billion, up 379% since 2012, and also delivered a satisfactory underwriting profit. Since joining Berkshire, Sy has led the company into both new products and new regions of the country and has increased GUARD's float by 265%.

In 1967, Omaha seemed an unlikely launching pad for a P/C giant. Wilkes-Barre may well deliver a similar surprise.

Berkshire Hathaway Energy

Berkshire Hathaway Energy is now celebrating its 20th year under our ownership. That anniversary suggests that we should be catching up with the company's accomplishments.

We'll start with the topic of electricity rates. When Berkshire entered the utility business in 2000, purchasing 76% of BHE, the company's residential customers in Iowa paid an average of 8.8 cents per kilowatt-hour (kWh). Prices for residential customers have since risen less than 1% a year, and we have promised that there will be no base rate price increases through 2028. In contrast, here's what is happening at the other large investor-owned Iowa utility: Last year, the rates it charged its residential customers were 61% higher than BHE's. Recently, that utility received a rate increase that will widen the gap to 70%.

The extraordinary differential between our rates and theirs is largely the result of our huge accomplishments in converting wind into electricity. In 2021, we expect BHE's operation to generate about 25.2 million megawatt-hours of electricity (MWh) in Iowa from wind turbines that it both owns and operates. That output will totally cover the annual needs of its Iowa customers, which run to about 24.6 million MWh. In other words, our utility will have attained wind self-sufficiency in the state of Iowa.

In still another contrast, that other Iowa utility generates less than 10% of its power from wind. Furthermore, we know of no other investor-owned utility, wherever located, that by 2021 will have achieved a position of wind self-sufficiency. In 2000, BHE was serving an agricultural-based economy; today, three of its five largest customers are high-tech giants. I believe their decisions to site plants in Iowa were in part based upon BHE's ability to deliver renewable, low-cost energy.

Of course, wind is intermittent, and our blades in Iowa turn only part of the time. In certain periods, when the air is still, we look to our non-wind generating capacity to secure the electricity we need. At opposite times, we sell the excess power that wind provides us to other utilities, serving them through what's called "the grid." The power we sell them supplants their need for a carbon resource – coal, say, or natural gas.

Berkshire Hathaway now owns 91% of BHE in partnership with Walter Scott, Jr. and Greg Abel. BHE has never paid Berkshire Hathaway a dividend since our purchase and has, as the years have passed, retained $28 billion of earnings. That pattern is an outlier in the world of utilities, whose companies customarily pay big dividends – sometimes reaching, or even exceeding, 80% of earnings. Our view: The more we can invest, the more we like it.

Today, BHE has the operating talent and experience to manage truly huge utility projects – requiring investments of $100 billion or more – that could support infrastructure benefitting our country, our communities and our shareholders. We stand ready, willing and able to take on such opportunities.

Investments

Below we list our fifteen common stock investments that at yearend had the largest market value. We exclude our Kraft Heinz holding – 325,442,152 shares – because Berkshire is part of a control group and therefore must account for this investment on the "equity" method. On its balance sheet, Berkshire carries the Kraft Heinz holding at a GAAP figure of $13.8 billion, an amount that represents Berkshire's share of the audited net worth of Kraft Heinz at December 31, 2019. Please note, though, that the market value of our shares on that date was only $10.5 billion.

			12/31/19	
*Shares**	*Company*	*Percentage of Company Owned*	*Cost***	*Market*
			(in millions)	
151,610,700	American Express Company	18.7	$ 1,287	$ 18,874
250,866,566	Apple Inc.	5.7	35,287	73,667
947,760,000	Bank of America Corp.	10.7	12,560	33,380
81,488,751	The Bank of New York Mellon Corp.	9.0	3,696	4,101
5,426,609	Charter Communications, Inc.	2.6	944	2,632
400,000,000	The Coca-Cola Company	9.3	1,299	22,140
70,910,456	Delta Air Lines, Inc.	11.0	3,125	4,147
12,435,814	The Goldman Sachs Group, Inc.	3.5	890	2,859
60,059,932	JPMorgan Chase & Co.	1.9	6,556	8,372
24,669,778	Moody's Corporation	13.1	248	5,857
46,692,713	Southwest Airlines Co.	9.0	1,940	2,520
21,938,642	United Continental Holdings Inc.	8.7	1,195	1,933
149,497,786	U.S. Bancorp	9.7	5,709	8,864
10,239,160	Visa Inc.	0.6	349	1,924
345,688,918	Wells Fargo & Company	8.4	7,040	18,598
	Others***		28,215	38,159
	Total Equity Investments Carried at Market		$110,340	$248,027

* Excludes shares held by pension funds of Berkshire subsidiaries.

** This is our actual purchase price and also our tax basis.

*** Includes $10 billion investment in Occidental Petroleum Corporation consisting of preferred stock and warrants to buy common stock.

Charlie and I do *not* view the $248 billion detailed above as a collection of stock market wagers – dalliances to be terminated because of downgrades by "the Street," an earnings "miss," expected Federal Reserve actions, possible political developments, forecasts by economists or whatever else might be the subject *du jour*.

What we see in our holdings, rather, is an assembly of companies that we partly own and that, on a weighted basis, are earning more than *20%* on the net tangible equity capital required to run their businesses. These companies, also, earn their profits without employing excessive levels of debt.

Returns of that order by large, established and understandable businesses are remarkable under any circumstances. They are truly mind-blowing when compared to the returns that many investors have accepted on bonds over the last decade – 2 ½% or even less on 30-year U.S. Treasury bonds, for example.

Forecasting interest rates has never been our game, and Charlie and I have *no* idea what rates will average over the next year, or ten or thirty years. Our perhaps jaundiced view is that the pundits who opine on these subjects reveal, by that very behavior, far more about themselves than they reveal about the future.

What we *can* say is that *if* something close to current rates should prevail over the coming decades and *if* corporate tax rates also remain near the low level businesses now enjoy, it is almost certain that equities will *over time* perform far better than long-term, fixed-rate debt instruments.

That rosy prediction comes with a warning: *Anything* can happen to stock prices tomorrow. Occasionally, there will be major drops in the market, perhaps of 50% magnitude or even greater. But the combination of The American Tailwind, about which I wrote last year, and the compounding wonders described by Mr. Smith, will make equities the much better long-term choice for the individual who does not use borrowed money and who can control his or her emotions. Others? Beware!

The Road Ahead

Three decades ago, my Midwestern friend, Joe Rosenfield, then in his 80s, received an irritating letter from his local newspaper. In blunt words, the paper asked for biographical data it planned to use in Joe's obituary. Joe didn't respond. So? A month later, he got a second letter from the paper, this one labeled "URGENT."

Charlie and I long ago entered the urgent zone. That's not exactly great news for us. But Berkshire shareholders need not worry: Your company is 100% prepared for our departure.

The two of us base our optimism upon five factors. First, Berkshire's assets are deployed in an extraordinary variety of wholly or partly-owned businesses that, averaged out, earn attractive returns on the capital they use. Second, Berkshire's positioning of its "controlled" businesses within a single entity endows it with some important and enduring economic advantages. Third, Berkshire's financial affairs will unfailingly be managed in a manner allowing the company to withstand external shocks of an extreme nature. Fourth, we possess skilled and *devoted* top managers for whom running Berkshire is far more than simply having a high-paying and/or prestigious job. Finally, Berkshire's directors – your guardians – are constantly focused on both the welfare of owners and the nurturing of a culture that is rare among giant corporations. (The value of this culture is explored in *Margin of Trust*, a new book by Larry Cunningham and Stephanie Cuba that will be available at our annual meeting.)

Charlie and I have very pragmatic reasons for wanting to assure Berkshire's prosperity in the years following our exit: The Mungers have Berkshire holdings that dwarf any of the family's other investments, and I have a full 99% of my net worth lodged in Berkshire stock. I have never sold any shares and have no plans to do so. My only disposal of Berkshire shares, aside from charitable donations and minor personal gifts, took place in 1980, when I, along with other Berkshire stockholders who elected to participate, exchanged some of our Berkshire shares for the shares of an Illinois bank that Berkshire had purchased in 1969 and that, in 1980, needed to be offloaded because of changes in the bank holding company law.

Today, my will specifically directs its executors – as well as the trustees who will succeed them in administering my estate after the will is closed – not to sell *any* Berkshire shares. My will also absolves both the executors and the trustees from liability for maintaining what obviously will be an extreme concentration of assets.

The will goes on to instruct the executors – and, in time, the trustees – to each year convert a portion of my A shares into B shares and then distribute the Bs to various foundations. Those foundations will be required to deploy their grants promptly. In all, I estimate that it will take 12 to 15 years for the entirety of the Berkshire shares I hold at my death to move into the market.

Absent my will's directive that all my Berkshire shares should be held until their scheduled distribution dates, the "safe" course for both my executors and trustees would be to sell the Berkshire shares under their temporary control and reinvest the proceeds in U.S. Treasury bonds with maturities matching the scheduled dates for distributions. That strategy would leave the fiduciaries immune from both public criticism and the possibility of personal liability for failure to act in accordance with the "prudent man" standard.

I myself feel comfortable that Berkshire shares will provide a safe and rewarding investment during the disposal period. There is always a chance – unlikely, but not negligible – that events will prove me wrong. I believe, however, that there is a high probability that my directive will deliver substantially greater resources to society than would result from a conventional course of action.

Key to my "Berkshire-only" instructions is my faith in the future judgment and fidelity of Berkshire directors. They will regularly be tested by Wall Streeters bearing fees. At many companies, these super-salesmen might win. I do not, however, expect that to happen at Berkshire.

Boards of Directors

In recent years, both the composition of corporate boards and their purpose have become hot topics. Once, debate about the responsibilities of boards was largely limited to lawyers; today, institutional investors and politicians have weighed in as well.

My credentials for discussing corporate governance include the fact that, over the last 62 years, I have served as a director of 21 publicly-owned companies (listed below). In all but two of them, I have represented a substantial holding of stock. In a few cases, I have tried to implement important change.

During the first 30 or so years of my services, it was rare to find a woman in the room unless she represented a family controlling the enterprise. This year, it should be noted, marks the 100th anniversary of the 19th Amendment, which guaranteed American women the right to have their voices heard in a voting booth. Their attaining similar status in a board room remains a work in progress.

Over the years, many new rules and guidelines pertaining to board composition and duties have come into being. The bedrock challenge for directors, nevertheless, remains constant: Find and retain a talented CEO – possessing integrity, for sure – who will be *devoted* to the company for his/her business lifetime. Often, that task is hard. When directors get it right, though, they need to do little else. But when they mess it up, ...

Audit committees now work much harder than they once did and almost always view the job with appropriate seriousness. Nevertheless, these committees remain no match for managers who wish to game numbers, an offense that has been encouraged by the scourge of earnings "guidance" and the desire of CEOs to "hit the number." My direct experience (limited, thankfully) with CEOs who have played with a company's numbers indicates that they were more often prompted by ego than by a desire for financial gain.

Compensation committees now rely much more heavily on consultants than they used to. Consequently, compensation arrangements have become more complicated – what committee member wants to explain paying large fees year after year for a *simple* plan? – and the reading of proxy material has become a mind-numbing experience.

One *very* important improvement in corporate governance has been mandated: a regularly-scheduled "executive session" of directors at which the CEO is barred. Prior to that change, truly frank discussions of a CEO's skills, acquisition decisions and compensation were rare.

Acquisition proposals remain a particularly vexing problem for board members. The legal orchestration for making deals has been refined and expanded (a word aptly describing attendant costs as well). But I have yet to see a CEO who craves an acquisition bring in an informed and articulate critic to argue against it. And yes, include me among the guilty.

Berkshire, Blue Chip Stamps, Cap Cities-ABC, Coca-Cola, Data Documents, Dempster, General Growth, Gillette, Kraft Heinz, Maracaibo Oil, Munsingwear, Omaha National Bank, Pinkerton's, Portland Gas Light, Salomon, Sanborn Map, Tribune Oil, U.S. Air, Vornado, Washington Post, Wesco Financial

Overall, the deck is stacked in favor of the deal that's coveted by the CEO and his/her obliging staff. It would be an interesting exercise for a company to hire two "expert" acquisition advisors, one pro and one con, to deliver his or her views on a proposed deal to the board – with the winning advisor to receive, say, ten times a token sum paid to the loser. Don't hold your breath awaiting this reform: The current system, whatever its shortcomings for shareholders, works magnificently for CEOs and the many advisors and other professionals who feast on deals. A venerable caution will forever be true when advice from Wall Street is contemplated: Don't ask the barber whether you need a haircut.

Over the years, board "independence" has become a new area of emphasis. One key point relating to this topic, though, is almost invariably overlooked: Director compensation has now soared to a level that inevitably makes pay a subconscious factor affecting the behavior of many non-wealthy members. Think, for a moment, of the director earning $250,000-300,000 for board meetings consuming a pleasant couple of days six or so times a year. Frequently, the possession of one such directorship bestows on its holder three to four times the *annual* median income of U.S. households. (I missed much of this gravy train: As a director of Portland Gas Light in the early 1960s, I received $100 *annually* for my service. To earn this princely sum, I commuted to Maine four times a year.)

And job security now? It's fabulous. Board members may get politely ignored, but they seldom get fired. Instead, generous age limits – usually 70 or higher – act as the standard method for the genteel ejection of directors.

Is it any wonder that a non-wealthy director ("NWD") now hopes – or even yearns – to be asked to join a second board, thereby vaulting into the $500,000-600,000 class? To achieve this goal, the NWD will need help. The CEO of a company searching for board members will almost certainly check with the NWD's current CEO as to whether NWD is a "good" director. "Good," of course, is a code word. If the NWD has seriously challenged his/her present CEO's compensation or acquisition dreams, his or her candidacy will silently die. When seeking directors, CEOs don't look for pit bulls. It's the cocker spaniel that gets taken home.

Despite the illogic of it all, the director for whom fees are important – indeed, craved – is almost universally classified as "independent" while many directors possessing fortunes very substantially linked to the welfare of the corporation are deemed lacking in independence. Not long ago, I looked at the proxy material of a large American company and found that *eight* directors had never purchased a share of the company's stock *using their own money*. (They, of course, had received *grants* of stock as a supplement to their generous cash compensation.) This particular company had long been a laggard, but the directors were doing wonderfully.

Paid-with-my-own-money ownership, of course, does *not* create wisdom or ensure business smarts. Nevertheless, I feel better when directors of our portfolio companies have had the experience of purchasing shares with their savings, rather than simply having been the recipients of grants.

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Here, a pause is due: I'd like you to know that almost all of the directors I have met over the years have been decent, likable and intelligent. They dressed well, made good neighbors and were fine citizens. I've enjoyed their company. Among the group are some men and women that I would not have met except for our mutual board service and who have become close friends.

Nevertheless, many of these good souls are people whom I would never have chosen to handle money or business matters. It simply was not their game.

They, in turn, would never have asked me for help in removing a tooth, decorating their home or improving their golf swing. Moreover, if I were ever scheduled to appear on *Dancing With the Stars*, I would immediately seek refuge in the Witness Protection Program. We are all duds at one thing or another. For most of us, the list is long. The important point to recognize is that if you are Bobby Fischer, you must play *only* chess for money.

At Berkshire, we will continue to look for business-savvy directors who are owner-oriented and arrive with a strong specific interest in our company. Thought and principles, not robot-like "process," will guide their actions. In representing *your* interests, they will, of course, seek managers whose goals include delighting their customers, cherishing their associates and acting as good citizens of both their communities and our country.

Those objectives are not new. They were the goals of able CEOs sixty years ago and remain so. Who would have it otherwise?

Short Subjects

In past reports, we've discussed both the sense and nonsense of stock repurchases. Our thinking, boiled down: Berkshire will buy back its stock only if a) Charlie and I believe that it is selling for less than it is worth and b) the company, upon completing the repurchase, is left with ample cash.

Calculations of intrinsic value are far from precise. Consequently, neither of us feels any urgency to buy an *estimated* $1 of value for a very real 95 cents. In 2019, the Berkshire price/value equation was *modestly* favorable at times, and we spent $5 billion in repurchasing about 1% of the company.

Over time, we want Berkshire's share count to go *down*. If the price-to-value discount (as we estimate it) widens, we will likely become more aggressive in purchasing shares. We will not, however, prop the stock at any level.

Shareholders having at least $20 million in value of A or B shares and an inclination to sell shares to Berkshire may wish to have their broker contact Berkshire's Mark Millard at 402-346-1400. We request that you phone Mark between 8:00-8:30 a.m. or 3:00-3:30 p.m. Central Time, calling only if you are ready to sell.

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In 2019, Berkshire sent $3.6 billion to the U.S. Treasury to pay its current income tax. The U.S. government collected $243 billion from corporate income tax payments during the same period. From these statistics, you can take pride that your company delivered 1 ½% of the federal income taxes paid by *all* of corporate America.

Fifty-five years ago, when Berkshire entered its current incarnation, the company paid *nothing* in federal income tax. (For good reason, too: Over the previous decade, the struggling business had recorded a net loss.) Since then, as Berkshire retained nearly all of its earnings, the beneficiaries of that policy became not only the company's shareholders but also the federal government. In most future years, we both hope and expect to send *far* larger sums to the Treasury.

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On pages A-2 – A-3, you will find details about our annual meeting, which will be held on May 2, 2020. Yahoo, as usual, will be streaming the event worldwide. There will be one important change, however, in our format: I've had suggestions from shareholders, media and board members that Ajit Jain and Greg Abel – our two key operating managers – be given more exposure at the meeting. That change makes great sense. They are outstanding individuals, both as managers and as human beings, and you should hear more from them.

Shareholders who this year send a question to be asked by our three long-serving journalists may specify that it be posed to Ajit or Greg. They, like Charlie and me, will not have even a hint of what the questions will be.

The journalists will alternate questions with those from the audience, who also can direct questions to any of the four of us. So polish up your zingers.

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On May 2nd, come to Omaha. Meet your fellow capitalists. Buy some Berkshire products. Have fun. Charlie and I – along with the entire Berkshire gang – are looking forward to seeing you.

February 22, 2020

Warren E. Buffett
Chairman of the Board

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Market Value of Berkshire	Annual Percentage Change in S&P 500 with Dividends Included
1965	49.5	10.0
1966	(3.4)	(11.7)
1967	13.3	30.9
1968	77.8	11.0
1969	19.4	(8.4)
1970	(4.6)	3.9
1971	80.5	14.6
1972	8.1	18.9
1973	(2.5)	(14.8)
1974	(48.7)	(26.4)
1975	2.5	37.2
1976	129.3	23.6
1977	46.8	(7.4)
1978	14.5	6.4
1979	102.5	18.2
1980	32.8	32.3
1981	31.8	(5.0)
1982	38.4	21.4
1983	69.0	22.4
1984	(2.7)	6.1
1985	93.7	31.6
1986	14.2	18.6
1987	4.6	5.1
1988	59.3	16.6
1989	84.6	31.7
1990	(23.1)	(3.1)
1991	35.6	30.5
1992	29.8	7.6
1993	38.9	10.1
1994	25.0	1.3
1995	57.4	37.6
1996	6.2	23.0
1997	34.9	33.4
1998	52.2	28.6
1999	(19.9)	21.0
2000	26.6	(9.1)
2001	6.5	(11.9)
2002	(3.8)	(22.1)
2003	15.8	28.7
2004	4.3	10.9
2005	0.8	4.9
2006	24.1	15.8
2007	28.7	5.5
2008	(31.8)	(37.0)
2009	2.7	26.5
2010	21.4	15.1
2011	(4.7)	2.1
2012	16.8	16.0
2013	32.7	32.4
2014	27.0	13.7
2015	(12.5)	1.4
2016	23.4	12.0
2017	21.9	21.8
2018	2.8	(4.4)
2019	11.0	31.5
2020	2.4	18.4
Compounded Annual Gain – 1965-2020	20.0%	10.2%
Overall Gain – 1964-2020	2,810,526%	23,454%

Note: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Berkshire earned $42.5 billion in 2020 according to generally accepted accounting principles (commonly called "GAAP"). The four components of that figure are $21.9 billion of operating earnings, $4.9 billion of realized capital gains, a $26.7 billion gain from an increase in the amount of net *unrealized* capital gains that exist in the stocks we hold and, finally, an $11 billion *loss* from a write-down in the value of a few subsidiary and affiliate businesses that we own. All items are stated on an after-tax basis.

Operating earnings are what count most, even during periods when they are *not* the largest item in our GAAP total. Our focus at Berkshire is both to increase this segment of our income and to acquire large and favorably-situated businesses. Last year, however, we met neither goal: Berkshire made no sizable acquisitions and operating earnings *fell* 9%. We did, though, increase Berkshire's per-share intrinsic value by both retaining earnings and repurchasing about 5% of our shares.

The two GAAP components pertaining to capital gains or losses (whether realized or unrealized) fluctuate capriciously from year to year, reflecting swings in the stock market. Whatever *today's* figures, Charlie Munger, my long-time partner, and I firmly believe that, over time, Berkshire's capital gains from its investment holdings will be substantial.

As I've emphasized many times, Charlie and I view Berkshire's holdings of marketable stocks – at yearend worth $281 billion – as a collection of *businesses*. We don't control the operations of those companies, but we do share proportionately in their long-term prosperity. From an accounting standpoint, however, our portion of their *earnings* is *not* included in Berkshire's income. Instead, only what these investees pay us in dividends is recorded on our books. Under GAAP, the huge sums that investees retain on our behalf become invisible.

What's out of sight, however, should *not* be out of mind: Those unrecorded retained earnings are usually building value – *lots* of value – for Berkshire. Investees use the withheld funds to expand their business, make acquisitions, pay off debt and, often, to repurchase their stock (an act that increases our share of their future earnings). As we pointed out in these pages last year, retained earnings have propelled American business throughout our country's history. What worked for Carnegie and Rockefeller has, over the years, worked its magic for millions of shareholders as well.

Of course, some of our investees will disappoint, adding little, if anything, to the value of their company by retaining earnings. But others will over-deliver, a few spectacularly. In aggregate, we expect our share of the huge pile of earnings retained by Berkshire's non-controlled businesses (what others would label our equity portfolio) to eventually deliver us an equal or greater amount of capital gains. Over our 56-year tenure, that expectation has been met.

The final component in our GAAP figure – that ugly $11 billion write-down – is almost entirely the quantification of a mistake I made in 2016. That year, Berkshire purchased Precision Castparts ("PCC"), and I paid too much for the company.

No one misled me in any way – I was simply too optimistic about PCC's normalized profit potential. Last year, my miscalculation was laid bare by adverse developments throughout the aerospace industry, PCC's most important source of customers.

In purchasing PCC, Berkshire bought a fine company – the best in its business. Mark Donegan, PCC's CEO, is a passionate manager who consistently pours the same energy into the business that he did before we purchased it. We are lucky to have him running things.

I believe I was right in concluding that PCC would, over time, earn good returns on the net tangible assets deployed in its operations. I was wrong, however, in judging the *average* amount of future earnings and, consequently, wrong in my calculation of the proper price to pay for the business.

PCC is far from my first error of that sort. But it's a big one.

Two Strings to Our Bow

Berkshire is often labeled a conglomerate, a negative term applied to holding companies that own a hodge-podge of unrelated businesses. And, yes, that describes Berkshire – but only in part. To understand how and why we differ from the prototype conglomerate, let's review a little history.

Over time, conglomerates have generally limited themselves to buying businesses *in their entirety*. That strategy, however, came with two major problems. One was unsolvable: Most of the truly great businesses had no interest in having *anyone* take them over. Consequently, deal-hungry conglomerateurs had to focus on so-so companies that lacked important and durable competitive strengths. That was not a great pond in which to fish.

Beyond that, as conglomerateurs dipped into this universe of mediocre businesses, they often found themselves required to pay staggering "control" premiums to snare their quarry. Aspiring conglomerateurs knew the answer to this "overpayment" problem: They simply needed to manufacture a vastly overvalued stock of their own that could be used as a "currency" for pricey acquisitions. ("I'll pay you $10,000 for your dog by giving you two of my $5,000 cats.")

Often, the tools for fostering the overvaluation of a conglomerate's stock involved promotional techniques and "imaginative" accounting maneuvers that were, at best, deceptive and that sometimes crossed the line into fraud. When these tricks were "successful," the conglomerate pushed its own stock to, say, 3x its business value in order to offer the target 2x *its* value.

Investing illusions can continue for a surprisingly long time. Wall Street loves the fees that deal-making generates, and the press loves the stories that colorful promoters provide. At a point, also, the soaring price of a promoted stock can itself become the "proof" that an illusion is reality.

Eventually, of course, the party ends, and many business "emperors" are found to have no clothes. Financial history is replete with the names of famous conglomerateurs who were initially lionized as business geniuses by journalists, analysts and investment bankers, but whose creations ended up as business junkyards.

Conglomerates *earned* their terrible reputation.

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Charlie and I want our conglomerate to *own* all or part of a diverse group of businesses with good economic characteristics and good managers. Whether Berkshire *controls* these businesses, however, is unimportant to us.

It took me a while to wise up. But Charlie – and also my 20-year struggle with the textile operation I inherited at Berkshire – finally convinced me that owning a non-controlling portion of a wonderful business is more profitable, more enjoyable and *far* less work than struggling with 100% of a marginal enterprise.

For those reasons, *our* conglomerate will remain a collection of controlled *and* non-controlled businesses. Charlie and I will simply deploy your capital into whatever we believe makes the most sense, based on a company's durable competitive strengths, the capabilities and character of its management, and price.

If that strategy requires little or no effort on our part, so much the better. In contrast to the scoring system utilized in diving competitions, you are awarded *no* points in business endeavors for "degree of difficulty." Furthermore, as Ronald Reagan cautioned: "It's said that hard work never killed anyone, but *I* say why take the chance?"

The Family Jewels and How We Increase Your Share of These Gems

On page A-1 we list Berkshire's subsidiaries, a smorgasbord of businesses employing 360,000 at yearend. You can read much more about these controlled operations in the 10-K that fills the back part of this report. Our major positions in companies that we partly own and *don't* control are listed on page 7 of this letter. That portfolio of businesses, too, is large and diverse.

Most of Berkshire's value, however, resides in four businesses, three controlled and one in which we have only a 5.4% interest. All four are jewels.

The largest in value is our property/casualty insurance operation, which for 53 years has been the core of Berkshire. Our family of insurers is unique in the insurance field. So, too, is its manager, Ajit Jain, who joined Berkshire in 1986.

Overall, the insurance fleet operates with *far* more capital than is deployed by any of its competitors worldwide. That financial strength, coupled with the huge flow of *cash* Berkshire annually receives from its *non-insurance* businesses, allows our insurance companies to safely follow an equity-heavy investment strategy not feasible for the overwhelming majority of insurers. Those competitors, for both regulatory and credit-rating reasons, *must* focus on bonds.

And bonds are *no*t the place to be these days. Can you believe that the income recently available from a 10-year U.S. Treasury bond – the yield was 0.93% at yearend – had fallen *94%* from the 15.8% yield available in September 1981? In certain large and important countries, such as Germany and Japan, investors earn a *negative* return on trillions of dollars of sovereign debt. Fixed-income investors worldwide – whether pension funds, insurance companies or retirees – face a bleak future.

Some insurers, as well as other bond investors, may try to juice the pathetic returns now available by shifting their purchases to obligations backed by shaky borrowers. Risky loans, however, are *not* the answer to inadequate interest rates. Three decades ago, the once-mighty savings and loan industry destroyed itself, partly by ignoring that maxim.

Berkshire now enjoys $138 billion of insurance "float" – funds that do not belong to us, but are nevertheless ours to deploy, whether in bonds, stocks or cash equivalents such as U.S. Treasury bills. Float has some similarities to bank deposits: cash flows in and out daily to insurers, with the total they hold changing very little. The massive sum held by Berkshire is likely to remain near its present level for many years and, on a cumulative basis, has been *costless* to us. That happy result, of course, could change – but, over time, I like our odds.

I have repetitiously – some might say endlessly – explained our insurance operation in my annual letters to you. Therefore, I will this year ask new shareholders who wish to learn more about our insurance business and "float" to read the pertinent section of the 2019 report, reprinted on page A-2. It's important that you understand the risks, as well as the opportunities, existing in our insurance activities.

Our second and third most valuable assets – it's pretty much a toss-up at this point – are Berkshire's 100% ownership of BNSF, America's largest railroad measured by freight volume, and our 5.4% ownership of Apple. And in the fourth spot is our 91% ownership of Berkshire Hathaway Energy ("BHE"). What we have here is a very unusual utility business, whose annual earnings have grown from $122 million to $3.4 *billion* during our 21 years of ownership.

I'll have more to say about BNSF and BHE later in this letter. For now, however, I would like to focus on a practice Berkshire will periodically use to enhance *your* interest in both its "Big Four" as well as the many other assets Berkshire owns.

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Last year we demonstrated our enthusiasm for Berkshire's spread of properties by repurchasing the equivalent of 80,998 "A" shares, spending $24.7 billion in the process. That action increased *your* ownership in *all* of Berkshire's businesses by 5.2% *without* requiring you to so much as touch your wallet.

Following criteria Charlie and I have long recommended, we made those purchases because we believed they would both enhance the intrinsic value per share for continuing shareholders *and* would leave Berkshire with more than ample funds for any opportunities or problems it might encounter.

In no way do we think that Berkshire shares should be repurchased at simply any price. I emphasize that point because American CEOs have an embarrassing record of devoting more company funds to repurchases when prices have risen than when they have tanked. Our approach is exactly the reverse.

Berkshire's investment in Apple vividly illustrates the power of repurchases. We began buying Apple stock late in 2016 and by early July 2018, owned slightly more than one billion Apple shares (split-adjusted). Saying that, I'm referencing the investment held in Berkshire's general account and am excluding a very small and separately-managed holding of Apple shares that was subsequently sold. When we finished our purchases in mid-2018, Berkshire's general account owned 5.2% of Apple.

Our cost for that stake was $36 billion. Since then, we have both enjoyed regular dividends, averaging about $775 million annually, and have also – in 2020 – pocketed an additional $11 billion by selling a small portion of our position.

Despite that sale – voila! – Berkshire now owns 5.4% of Apple. That increase was *costless* to us, coming about because Apple has continuously repurchased its shares, thereby substantially shrinking the number it now has outstanding.

But that's far from all of the good news. Because we also repurchased *Berkshire* shares during the 2½ years, *you* now indirectly own a full 10% more of Apple's assets and future earnings than you did in July 2018.

This agreeable dynamic continues. Berkshire has repurchased more shares since yearend and is likely to further reduce its share count in the future. Apple has publicly stated an intention to repurchase its shares as well. As these reductions occur, Berkshire shareholders will not only own a greater interest in our insurance group and in BNSF and BHE, but will also find their indirect ownership of Apple increasing as well.

The math of repurchases grinds away slowly, but can be powerful over time. The process offers a simple way for investors to own an ever-expanding portion of exceptional businesses.

And as a sultry Mae West assured us: "Too much of a good thing can be . . . wonderful."

Investments

Below we list our fifteen common stock investments that at yearend were our largest in market value. We exclude our Kraft Heinz holding — 325,442,152 shares — because Berkshire is part of a control group and therefore must account for that investment using the "equity" method. On its balance sheet, Berkshire carries the Kraft Heinz holding at a GAAP figure of $13.3 billion, an amount that represents Berkshire's share of the audited net worth of Kraft Heinz on December 31, 2020. Please note, though, that the market value of our shares on that date was only $11.3 billion.

			12/31/20	
*Shares**	*Company*	*Percentage of Company Owned*	*Cost***	*Market*
			(in millions)	
25,533,082	AbbVie Inc.	1.4	$ 2,333	$ 2,736
151,610,700	American Express Company	18.8	1,287	18,331
907,559,761	Apple Inc.	5.4	31,089	120,424
1,032,852,006	Bank of America Corp.	11.9	14,631	31,306
66,835,615	The Bank of New York Mellon Corp.	7.5	2,918	2,837
225,000,000	BYD Co. Ltd.	8.2	232	5,897
5,213,461	Charter Communications, Inc.	2.7	904	3,449
48,498,965	Chevron Corporation	2.5	4,024	4,096
400,000,000	The Coca-Cola Company	9.3	1,299	21,936
52,975,000	General Motors Company	3.7	1,616	2,206
81,304,200	Itochu Corporation	5.1	1,862	2,336
28,697,435	Merck & Co., Inc.	1.1	2,390	2,347
24,669,778	Moody's Corporation	13.2	248	7,160
148,176,166	U.S. Bancorp	9.8	5,638	6,904
146,716,496	Verizon Communications Inc.	3.5	8,691	8,620
	Others***		29,458	40,585
	Total Equity Investments Carried at Market		$ 108,620	$ 281,170

* Excludes shares held by pension funds of Berkshire subsidiaries.

** This is our actual purchase price and also our tax basis.

*** Includes a $10 billion investment in Occidental Petroleum, consisting of preferred stock and warrants to buy common stock, a combination now being valued at $9 billion.

A Tale of Two Cities

Success stories abound throughout America. Since our country's birth, individuals with an idea, ambition and often just a pittance of capital have succeeded beyond their dreams by creating something new or by improving the customer's experience with something old.

Charlie and I journeyed throughout the nation to join with many of these individuals or their families. On the West Coast, we began the routine in 1972 with our purchase of See's Candy. A full century ago, Mary See set out to deliver an age-old product that she had reinvented with special recipes. Added to her business plan were quaint stores staffed by friendly salespeople. Her first small outlet in Los Angeles eventually led to several hundred shops, spread throughout the West.

Today, Mrs. See's creations continue to delight customers while providing life-long employment for thousands of women and men. Berkshire's job is simply not to meddle with the company's success. When a business manufactures and distributes a non-essential consumer product, the *customer* is the boss. And, after 100 years, the customer's message to Berkshire remains clear: "Don't mess with *my* candy." (The website is https://www.sees.com/; try the peanut brittle.)

Let's move across the continent to Washington, D.C. In 1936, Leo Goodwin, along with his wife, Lillian, became convinced that auto insurance – a standardized product customarily purchased from agents – could be sold directly at a much lower price. Armed with $100,000, the pair took on giant insurers possessing 1,000 times or more their capital. Government Employees Insurance Company (later shortened to GEICO) was on its way.

By luck, I was exposed to the company's potential a full 70 years ago. It instantly became my first love (of an investment sort). You know the rest of the story: Berkshire eventually became the 100% owner of GEICO, which at 84 years of age is constantly fine-tuning – but not changing – the vision of Leo and Lillian.

There has been, however, a change in the company's size. In 1937, its first full year of operation, GEICO did $238,288 of business. Last year the figure was $35 billion.

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Today, with much of finance, media, government and tech located in coastal areas, it's easy to overlook the many miracles occurring in middle America. Let's focus on two communities that provide stunning illustrations of the talent and ambition existing *throughout* our country.

You will not be surprised that I begin with Omaha.

In 1940, Jack Ringwalt, a graduate of Omaha's Central High School (the alma mater as well of Charlie, my dad, my first wife, our three children and two grandchildren), decided to start a property/casualty insurance company funded by $125,000 in capital.

Jack's dream was preposterous, requiring his pipsqueak operation – somewhat pompously christened as National Indemnity – to compete with giant insurers, all of which operated with abundant capital. Additionally, those competitors were solidly entrenched with nationwide networks of well-funded and long-established local agents. Under Jack's plan, National Indemnity, unlike GEICO, would itself use whatever agencies deigned to accept it and consequently enjoy *no* cost advantage in its acquisition of business. To overcome those formidable handicaps, National Indemnity focused on "odd-ball" risks, which were deemed unimportant by the "big boys." And, improbably, the strategy succeeded.

Jack was honest, shrewd, likeable and a bit quirky. In particular, he disliked regulators. When he periodically became annoyed with their supervision, he would feel an urge to sell his company.

Fortunately, I was nearby on one of those occasions. Jack liked the idea of joining Berkshire, and we made a deal in 1967, taking all of 15 minutes to reach a handshake. I never asked for an audit.

Today National Indemnity is the *only* company in the world prepared to insure certain giant risks. And, yes, it remains based in Omaha, a few miles from Berkshire's home office.

Over the years, we have purchased four additional businesses from Omaha families, the best known among them being Nebraska Furniture Mart ("NFM"). The company's founder, Rose Blumkin ("Mrs. B"), arrived in Seattle in 1915 as a Russian emigrant, unable to read or speak English. She settled in Omaha several years later and by 1936 had saved $2,500 with which to start a furniture store.

Competitors and suppliers ignored her, and for a time their judgment seemed correct: World War II stalled her business, and at yearend 1946, the company's net worth had grown to only $72,264. Cash, both in the till and on deposit, totaled $50 (that's not a typo).

One invaluable asset, however, went unrecorded in the 1946 figures: Louie Blumkin, Mrs. B's only son, had rejoined the store after four years in the U.S. Army. Louie fought at Normandy's Omaha Beach following the D-Day invasion, earned a Purple Heart for injuries sustained in the Battle of the Bulge, and finally sailed home in November 1945.

Once Mrs. B and Louie were reunited, there was no stopping NFM. Driven by their dream, mother and son worked days, nights and weekends. The result was a retailing miracle.

By 1983, the pair had created a business worth $60 million. That year, on my birthday, Berkshire purchased 80% of NFM, again without an audit. I counted on Blumkin family members to run the business; the third and fourth generation do so today. Mrs. B, it should be noted, worked daily until she was 103 – a ridiculously premature retirement age as judged by Charlie and me.

NFM now owns the three largest home-furnishings stores in the U.S. Each set a sales record in 2020, a feat achieved despite the closing of NFM's stores for more than six weeks because of COVID-19.

A post-script to this story says it all: When Mrs. B's large family gathered for holiday meals, she always asked that they sing a song before eating. Her selection never varied: Irving Berlin's "God Bless America."

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Let's move somewhat east to Knoxville, the third largest city in Tennessee. There, Berkshire has ownership in *two* remarkable companies – Clayton Homes (100% owned) and Pilot Travel Centers (38% owned now, but headed for 80% in 2023).

Each company was started by a young man who had graduated from the University of Tennessee and stayed put in Knoxville. Neither had a meaningful amount of capital nor wealthy parents.

But, so what? Today, Clayton and Pilot each have *annual* pre-tax earnings of more than *$1 billion*. Together they employ about 47,000 men and women.

Jim Clayton, after several other business ventures, founded Clayton Homes on a shoestring in 1956, and "Big Jim" Haslam started what became Pilot Travel Centers in 1958 by purchasing a service station for $6,000. Each of the men later brought into the business a son with the same passion, values and brains as his father. Sometimes there is a magic to genes.

"Big Jim" Haslam, now 90, has recently authored an inspirational book in which he relates how Jim *Clayton*'s son, Kevin, encouraged the Haslams to sell a large portion of Pilot to Berkshire. Every retailer knows that satisfied customers are a store's best salespeople. That's true when businesses are changing hands as well.

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When you next fly over Knoxville or Omaha, tip your hat to the Claytons, Haslams and Blumkins as well as to the army of successful entrepreneurs who populate every part of our country. These builders needed America's framework for prosperity – a unique experiment when it was crafted in 1789 – to achieve their potential. In turn, America needed citizens like Jim C., Jim H., Mrs. B and Louie to accomplish the miracles our founding fathers sought.

Today, many people forge similar miracles *throughout* the world, creating a spread of prosperity that benefits *all* of humanity. In its brief 232 years of existence, however, there has been *no* incubator for unleashing human potential like America. Despite some severe interruptions, our country's economic progress has been breathtaking.

Beyond that, we retain our constitutional aspiration of becoming "a more perfect union." Progress on that front has been slow, uneven and often discouraging. We have, however, moved forward and will continue to do so.

Our unwavering conclusion: *Never* bet against America.

The Berkshire Partnership

Berkshire is a Delaware corporation, and our directors must follow the state's laws. Among them is a requirement that board members *must* act in the best interest of the corporation and its stockholders. Our directors embrace that doctrine.

In addition, of course, Berkshire directors want the company to delight its customers, to develop and reward the talents of its 360,000 associates, to behave honorably with lenders and to be regarded as a good citizen of the many cities and states in which we operate. We value these four important constituencies.

None of these groups, however, have a *vote* in determining such matters as dividends, strategic direction, CEO selection, or acquisitions and divestitures. Responsibilities like those fall *solely* on Berkshire's directors, who must faithfully represent the long-term interests of the corporation and its *owners*.

Beyond legal requirements, Charlie and I feel a special obligation to the many *individual* shareholders of Berkshire. A bit of personal history may help you to understand our unusual attachment and how it shapes our behavior.

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Before my Berkshire years, I managed money for many individuals through a series of partnerships, the first three of those formed in 1956. As time passed, the use of multiple entities became unwieldy and, in 1962, we amalgamated 12 partnerships into a single unit, Buffett Partnership Ltd. ("BPL").

By that year, virtually all of my own money, and that of my wife as well, had become invested alongside the funds of my many limited partners. I received no salary or fees. Instead, as the general partner, I was compensated by my limited partners only after they secured returns above an annual threshold of 6%. If returns failed to meet that level, the shortfall was to be carried forward against my share of future profits. (Fortunately, that never happened: Partnership returns always exceeded the 6% "bogey.") As the years went by, a large part of the resources of my parents, siblings, aunts, uncles, cousins and in-laws became invested in the partnership.

Charlie formed his partnership in 1962 and operated much as I did. Neither of us had *any* institutional investors, and very few of our partners were financially sophisticated. The people who joined our ventures simply trusted us to treat their money as we treated our own. These individuals – either intuitively or by relying on the advice of friends – correctly concluded that Charlie and I had an extreme aversion to permanent loss of capital and that we would not have accepted their money unless we expected to do reasonably well with it.

I stumbled into *business* management after BPL acquired control of Berkshire in 1965. Later still, in 1969, we decided to dissolve BPL. After yearend, the partnership distributed, pro-rata, all of its cash along with three stocks, the largest by value being BPL's 70.5% interest in Berkshire.

Charlie, meanwhile, wound up his operation in 1977. Among the assets he distributed to partners was a major interest in Blue Chip Stamps, a company his partnership, Berkshire and I jointly controlled. Blue Chip was also among the three stocks my partnership had distributed upon its dissolution.

In 1983, Berkshire and Blue Chip merged, thereby expanding Berkshire's base of registered shareholders from 1,900 to 2,900. Charlie and I wanted everyone – old, new and *prospective* shareholders – to be on the same page.

Therefore, the 1983 annual report – up front – laid out Berkshire's "major business principles." The *first* principle began: "Although our form is corporate, our attitude is partnership." That defined our relationship in 1983; it defines it today. Charlie and I – and our directors as well – believe this dictum will serve Berkshire well for many decades to come.

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Ownership of Berkshire now resides in five large "buckets," one occupied by me as a "founder" of sorts. That bucket is certain to empty as the shares I own are annually distributed to various philanthropies.

Two of the remaining four buckets are filled by institutional investors, each handling *other people's money*. That, however, is where the similarity between those buckets ends: Their investing procedures could not be more different.

In one institutional bucket are index funds, a large and mushrooming segment of the investment world. These funds simply mimic the index that they track. The favorite of index investors is the S&P 500, of which Berkshire is a component. Index funds, it should be emphasized, own Berkshire shares simply because they are *required* to do so. They are on automatic pilot, buying and selling *only* for "weighting" purposes.

In the other institutional bucket are professionals who *manage* their clients' money, whether those funds belong to wealthy individuals, universities, pensioners or whomever. These professional managers have a mandate to move funds from one investment to another based on their judgment as to valuation and prospects. That is an honorable, though difficult, occupation.

We are happy to work for this "active" group, while they meanwhile search for a better place to deploy the funds of their clientele. Some managers, to be sure, have a long-term focus and trade very infrequently. Others use computers employing algorithms that may direct the purchase or sale of shares in a nano-second. Some professional investors will come and go based upon their macro-economic judgments.

Our fourth bucket consists of individual shareholders who operate in a manner similar to the active institutional managers I've just described. These owners, understandably, think of their Berkshire shares as a possible source of funds when they see another investment that excites them. We have no quarrel with that attitude, which is similar to the way we look at *some* of the equities we own at Berkshire.

All of that said, Charlie and I would be less than human if we did not feel a special kinship with our fifth bucket: the million-plus *individual* investors who simply trust us to represent their interests, whatever the future may bring. They have joined us with no intent to leave, adopting a mindset similar to that held by our original partners. Indeed, many investors from our partnership years, and/or their descendants, remain substantial owners of Berkshire.

A prototype of those veterans is Stan Truhlsen, a cheerful and generous Omaha ophthalmologist as well as personal friend, who turned 100 on November 13, 2020. In 1959, Stan, along with 10 other young Omaha doctors, formed a partnership with me. The docs creatively labeled their venture Emdee, Ltd. Annually, they joined my wife and me for a celebratory dinner at our home.

When our partnership distributed its Berkshire shares in 1969, *all* of the doctors kept the stock they received. They may not have known the ins and outs of investing or accounting, but they *did* know that at Berkshire they would be treated as partners.

Two of Stan's comrades from Emdee are now in their high-90s and continue to hold Berkshire shares. This group's startling durability – along with the fact that Charlie and I are 97 and 90, respectively – serves up an interesting question: Could it be that Berkshire ownership fosters longevity?

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Berkshire's unusual and valued family of individual shareholders may add to your understanding of our reluctance to court Wall Street analysts and institutional investors. We *already have* the investors we want and don't think that they, on balance, would be upgraded by replacements.

There are only so many seats – that is, shares outstanding – available for Berkshire ownership. And we very much like the people already occupying them.

Of course, some turnover in "partners" will occur. Charlie and I hope, however, that it will be minimal. Who, after all, seeks rapid turnover in friends, neighbors or marriage?

In 1958, Phil Fisher wrote a superb book on investing. In it, he analogized running a public company to managing a restaurant. If you are seeking diners, he said, you can attract a clientele and prosper featuring *either* hamburgers served with a Coke *or* a French cuisine accompanied by exotic wines. But you must not, Fisher warned, capriciously switch from one to the other: Your message to potential customers must be consistent with what they will find upon entering your premises.

At Berkshire, we have been serving hamburgers and Coke for 56 years. We cherish the clientele this fare has attracted.

The tens of millions of other investors and speculators in the United States and elsewhere have a wide variety of equity choices to fit *their* tastes. They will find CEOs and market gurus with enticing ideas. If they want price targets, managed earnings and "stories," they will not lack suitors. "Technicians" will confidently instruct them as to what some wiggles on a chart portend for a stock's next move. The calls for action will never stop.

Many of those investors, I should add, will do quite well. After all, ownership of stocks is very much a "positive-sum" game. Indeed, a patient and level-headed monkey, who constructs a portfolio by throwing 50 darts at a board listing all of the S&P 500, will – *over time* – enjoy dividends and capital gains, just as long as it *never* gets tempted to make changes in its original "selections."

Productive assets such as farms, real estate and, yes, business ownership *produce* wealth – lots of it. Most owners of such properties will be rewarded. All that's required is the passage of time, an inner calm, ample diversification and a minimization of transactions and fees. Still, investors must never forget that their *expenses* are Wall Street's *income*. And, unlike my monkey, Wall Streeters do not work for peanuts.

When seats open up at Berkshire – and we hope they are few – we want them to be occupied by newcomers who understand and desire what we offer. After decades of management, Charlie and I remain unable to promise results. We *can* and *do*, however, pledge to treat you as partners.

And so, too, will our successors.

A Berkshire Number that May Surprise You

Recently, I learned a fact about our company that I had never suspected: Berkshire owns *American-based* property, plant and equipment – the sort of assets that make up the "business infrastructure" of our country – with a GAAP valuation exceeding the amount owned by *any* other U.S. company. Berkshire's depreciated cost of these *domestic* "fixed assets" is $154 billion. Next in line on this list is AT&T, with property, plant and equipment of $127 billion.

Our leadership in fixed-asset ownership, I should add, does *not*, in itself, signal an investment triumph. The *best* results occur at companies that require *minimal* assets to conduct high-margin businesses – *and* offer goods or services that will expand their sales volume with only minor needs for additional capital. We, in fact, own a few of these exceptional businesses, but they are relatively small and, at best, grow slowly.

Asset-heavy companies, however, can be *good* investments. Indeed, we are delighted with our two giants – BNSF and BHE: In 2011, Berkshire's first full year of BNSF ownership, the two companies had combined earnings of $4.2 billion. In 2020, a tough year for many businesses, the pair earned $8.3 billion.

BNSF and BHE will require major capital expenditures for decades to come. The good news is that both are likely to deliver appropriate returns on the incremental investment.

Let's look first at BNSF. Your railroad carries about 15% of all non-local ton-miles (a ton of freight moved one mile) of goods that move in the United States, whether by rail, truck, pipeline, barge or aircraft. By a significant margin, BNSF's loads top those of any other carrier.

The history of American railroads is fascinating. After 150 years or so of frenzied construction, skullduggery, overbuilding, bankruptcies, reorganizations and mergers, the railroad industry finally emerged a few decades ago as mature and rationalized.

BNSF began operations in 1850 with a 12-mile line in northeastern Illinois. Today, it has 390 antecedents whose railroads have been purchased or merged. The company's extensive lineage is laid out at http://www.bnsf.com/bnsf-resources/pdf/about-bnsf/History_and_Legacy.pdf.

Berkshire acquired BNSF early in 2010. Since our purchase, the railroad has invested $41 billion in fixed assets, an outlay $20 billion in excess of its depreciation charges. Railroading is an outdoor sport, featuring mile-long trains obliged to reliably operate in both extreme cold and heat, as they all the while encounter every form of terrain from deserts to mountains. Massive flooding periodically occurs. BNSF owns 23,000 miles of track, spread throughout 28 states, and must spend whatever it takes to maximize safety and service throughout its vast system.

Nevertheless, BNSF has paid substantial dividends to Berkshire – $41.8 billion in total. The railroad pays us, however, only what remains after it both fulfills the needs of its business and maintains a cash balance of about $2 billion. This conservative policy allows BNSF to borrow at low rates, independent of any guarantee of its debt by Berkshire.

One further word about BNSF: Last year, Carl Ice, its CEO, and his number two, Katie Farmer, did an extraordinary job in controlling expenses while navigating a significant downturn in business. Despite a 7% decline in the volume of goods carried, the two actually increased BNSF's profit margin by 2.9 percentage points. Carl, as long planned, retired at yearend and Katie took over as CEO. Your railroad is in good hands.

BHE, unlike BNSF, pays *no* dividends on its common stock, a highly-unusual practice in the electric-utility industry. That Spartan policy has been the case throughout our 21 years of ownership. Unlike railroads, our country's electric utilities need a massive makeover in which the ultimate costs will be staggering. The effort will absorb all of BHE's earnings for decades to come. We welcome the challenge and believe the added investment will be appropriately rewarded.

Let me tell you about one of BHE's endeavors – its $18 billion commitment to rework and expand a substantial portion of the outdated grid that now transmits electricity throughout the West. BHE began this project in 2006 and expects it to be completed by 2030 – yes, 2030.

The advent of renewable energy made our project a societal necessity. Historically, the coal-based generation of electricity that long prevailed was located close to huge centers of population. The best sites for the new world of wind and solar generation, however, are often in remote areas. When BHE assessed the situation in 2006, it was no secret that a huge investment in western transmission lines had to be made. Very few companies or governmental entities, however, were in a financial position to raise their hand after they tallied the project's cost.

BHE's decision to proceed, it should be noted, was based upon its trust in America's political, economic and judicial systems. Billions of dollars needed to be invested before meaningful revenue would flow. Transmission lines had to cross the borders of states and other jurisdictions, each with its own rules and constituencies. BHE would also need to deal with hundreds of landowners and execute complicated contracts with both the suppliers that generated renewable power and the far-away utilities that would distribute the electricity to their customers. Competing interests and defenders of the old order, along with unrealistic visionaries desiring an instantly-new world, had to be brought on board.

Both surprises and delays were certain. Equally certain, however, was the fact that BHE had the managerial talent, the institutional commitment and the financial wherewithal to fulfill its promises. Though it will be many years before our western transmission project is completed, we are today searching for other projects of similar size to take on.

Whatever the obstacles, BHE will be a leader in delivering ever-cleaner energy.

The Annual Meeting

Last year, on February 22nd, I wrote you about our plans for a gala annual meeting. Within a month, the schedule was junked.

Our home office group, led by Melissa Shapiro and Marc Hamburg, Berkshire's CFO, quickly regrouped. Miraculously, their improvisations worked. Greg Abel, one of Berkshire's Vice Chairmen, joined me on stage facing a dark arena, 18,000 empty seats and a camera. There was no rehearsal: Greg and I arrived about 45 minutes before "showtime."

Debbie Bosanek, my incredible assistant who joined Berkshire 47 years ago at age 17, had put together about 25 slides displaying various facts and figures that I had assembled at home. An anonymous but highly-capable team of computer and camera operators projected the slides onto the screen in proper order.

Yahoo streamed the proceedings to a record-sized international audience. Becky Quick of CNBC, operating from her home in New Jersey, selected questions from thousands that shareholders had earlier submitted or that viewers had emailed to her during the four hours Greg and I were on stage. See's peanut brittle and fudge, along with Coca-Cola, provided us with nourishment.

This year, on May 1st, we are planning to go one better. Again, we will rely on Yahoo and CNBC to perform flawlessly. Yahoo will go live at 1 p.m. Eastern Daylight Time ("EDT"). Simply navigate to https://finance.yahoo.com/brklivestream.

Our formal meeting will commence at 5:00 p.m. EDT and should finish by 5:30 p.m. Earlier, between 1:30-5:00, we will answer your questions as relayed by Becky. As always, we will have no foreknowledge as to what questions will be asked. Send your zingers to BerkshireQuestions@cnbc.com. Yahoo will wrap things up after 5:30.

And now – drum roll, please – a surprise. This year our meeting will be held in Los Angeles . . . and *Charlie will be on stage with me* offering answers and observations throughout the 3½-hour question period. I missed him last year and, more important, *you* clearly missed him. Our other invaluable vice-chairmen, Ajit Jain and Greg Abel, will be with us to answer questions relating to their domains.

Join us via Yahoo. Direct your really tough questions to Charlie! We will have fun, and we hope you will as well.

Better yet, of course, will be the day when we see you face to face. I hope and expect that will be in 2022. The citizens of Omaha, our exhibiting subsidiaries and all of us at the home office can't wait to get you back for an honest-to-God annual meeting, *Berkshire-style*.

February 27, 2021

Warren E. Buffett
Chairman of the Board

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Market Value of Berkshire	Annual Percentage Change in S&P 500 with Dividends Included
1965	49.5	10.0
1966	(3.4)	(11.7)
1967	13.3	30.9
1968	77.8	11.0
1969	19.4	(8.4)
1970	(4.6)	3.9
1971	80.5	14.6
1972	8.1	18.9
1973	(2.5)	(14.8)
1974	(48.7)	(26.4)
1975	2.5	37.2
1976	129.3	23.6
1977	46.8	(7.4)
1978	14.5	6.4
1979	102.5	18.2
1980	32.8	32.3
1981	31.8	(5.0)
1982	38.4	21.4
1983	69.0	22.4
1984	(2.7)	6.1
1985	93.7	31.6
1986	14.2	18.6
1987	4.6	5.1
1988	59.3	16.6
1989	84.6	31.7
1990	(23.1)	(3.1)
1991	35.6	30.5
1992	29.8	7.6
1993	38.9	10.1
1994	25.0	1.3
1995	57.4	37.6
1996	6.2	23.0
1997	34.9	33.4
1998	52.2	28.6
1999	(19.9)	21.0
2000	26.6	(9.1)
2001	6.5	(11.9)
2002	(3.8)	(22.1)
2003	15.8	28.7
2004	4.3	10.9
2005	0.8	4.9
2006	24.1	15.8
2007	28.7	5.5
2008	(31.8)	(37.0)
2009	2.7	26.5
2010	21.4	15.1
2011	(4.7)	2.1
2012	16.8	16.0
2013	32.7	32.4
2014	27.0	13.7
2015	(12.5)	1.4
2016	23.4	12.0
2017	21.9	21.8
2018	2.8	(4.4)
2019	11.0	31.5
2020	2.4	18.4
2021	29.6	28.7
Compounded Annual Gain – 1965-2021	20.1%	10.5%
Overall Gain – 1964-2021	3,641,613%	30,209%

Note: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Charlie Munger, my long-time partner, and I have the job of managing a portion of your savings. We are honored by your trust.

Our position carries with it the responsibility to report to you what we would like to know if *we* were the absentee owner and *you* were the manager. We enjoy communicating directly with you through this annual letter, and through the annual meeting as well.

Our policy is to treat all shareholders equally. Therefore, we do not hold discussions with analysts nor large institutions. Whenever possible, also, we release important communications on Saturday mornings in order to maximize the time for shareholders and the media to absorb the news before markets open on Monday.

A wealth of Berkshire facts and figures are set forth in the annual 10-K that the company regularly files with the S.E.C. and that we reproduce on pages K-1 – K-119. Some shareholders will find this detail engrossing; others will simply prefer to learn what Charlie and I believe is new or interesting at Berkshire.

Alas, there was little action of that sort in 2021. We did, though, make reasonable progress in increasing the intrinsic value of your shares. That task has been my primary duty for 57 years. And it will continue to be.

What You Own

Berkshire owns a wide variety of businesses, some in their entirety, some only in part. The second group largely consists of marketable common stocks of major American companies. Additionally, we own a few non-U.S. equities and participate in several joint ventures or other collaborative activities.

Whatever our form of ownership, our goal is to have meaningful investments in *businesses* with both durable economic advantages and a first-class CEO. Please note particularly that we own stocks based upon our expectations about their long-term *business* performance and *not* because we view them as vehicles for timely market moves. That point is crucial: Charlie and I are *not* stock-pickers; we are business-pickers.

I make many mistakes. Consequently, our extensive collection of businesses includes some enterprises that have truly extraordinary economics, many others that enjoy good economic characteristics, and a few that are marginal. One advantage of our common-stock segment is that – on occasion – it becomes easy to buy *pieces* of wonderful businesses at wonderful prices. That shooting-fish-in-a-barrel experience is *very* rare in negotiated transactions and never occurs *en masse*. It is also far easier to exit from a mistake when it has been made in the marketable arena.

Surprise, Surprise

Here are a few items about your company that often surprise even seasoned investors:

- Many people perceive Berkshire as a large and somewhat strange collection of *financial* assets. In truth, Berkshire owns and *operates* more U.S.-based "infrastructure" assets – classified on our balance sheet as property, plant and equipment – than are owned and operated by *any* other American corporation. That supremacy has never been our goal. It has, however, become a fact.

  At yearend, those domestic infrastructure assets were carried on Berkshire's balance sheet at $158 billion. That number increased last year and will continue to increase. Berkshire *always* will be building.

- Every year, your company makes substantial federal income tax payments. In 2021, for example, we paid $3.3 billion while the U.S. Treasury reported *total* corporate income-tax receipts of $402 billion. Additionally, Berkshire pays substantial state and foreign taxes. "I gave at the office" is an unassailable assertion when made by Berkshire shareholders.

  Berkshire's history vividly illustrates the invisible and often unrecognized financial partnership between government and American businesses. Our tale begins early in 1955, when Berkshire Fine Spinning and Hathaway Manufacturing agreed to merge their businesses. In their requests for shareholder approval, these venerable New England textile companies expressed high hopes for the combination.

  The Hathaway solicitation, for example, assured its shareholders that "The combination of the resources and managements will result in one of the strongest and most efficient organizations in the textile industry." That upbeat view was endorsed by the company's advisor, Lehman Brothers (yes, *that* Lehman Brothers).

  I'm sure it was a joyous day in both Fall River (Berkshire) and New Bedford (Hathaway) when the union was consummated. After the bands stopped playing and the bankers went home, however, the shareholders reaped a disaster.

  In the nine years following the merger, Berkshire's owners watched the company's net worth crater from $51.4 million to $22.1 million. In part, this decline was caused by stock repurchases, ill-advised dividends and plant shutdowns. But nine years of effort by many thousands of employees delivered an operating loss as well. Berkshire's struggles were not unusual: The New England textile industry had silently entered an extended and non-reversible death march.

  During the nine post-merger years, the U.S. Treasury suffered as well from Berkshire's troubles. All told, the company paid the government only $337,359 in income tax during that period – a pathetic *$100 per day*.

  Early in 1965, things changed. Berkshire installed new management that redeployed available cash and steered essentially *all* earnings into a variety of good businesses, most of which remained good through the years. Coupling reinvestment of earnings with the power of compounding worked its magic, and shareholders prospered.

  Berkshire's owners, it should be noted, were not the only beneficiary of that course correction. Their "silent partner," the U.S. Treasury, proceeded to collect many *tens of billions* of dollars from the company in income tax payments. Remember the $100 daily? Now, Berkshire pays roughly $9 *million* daily to the Treasury.

In fairness to our governmental partner, our shareholders should acknowledge – indeed trumpet – the fact that Berkshire's prosperity has been fostered *mightily* because the company has operated in America. Our country would have done splendidly in the years since 1965 *without* Berkshire. Absent our American home, however, Berkshire would never have come close to becoming what it is today. When you see the flag, say thanks.

- From an $8.6 million purchase of National Indemnity in 1967, Berkshire has become the world leader in insurance "float" – money we hold and can invest but that does *not* belong to us. Including a relatively small sum derived from life insurance, Berkshire's total float has grown from $19 *million* when we entered the insurance business to $147 *billion*.

  So far, this float has cost us less than nothing. Though we have experienced a number of years when insurance losses combined with operating expenses exceeded premiums, *overall* we have earned a modest 55-year profit from the underwriting activities that generated our float.

  Of equal importance, float is very sticky. Funds attributable to our insurance operations come and go daily, but their aggregate total is immune from precipitous decline. When it comes to investing float, we can therefore think long-term.

  If you are not already familiar with the concept of float, I refer you to a long explanation on page A-5. To my surprise, our float increased $9 billion last year, a buildup of value that is important to Berkshire owners though is *not* reflected in our GAAP ("generally-accepted accounting principles") presentation of earnings and net worth.

  Much of our huge value creation in insurance is attributable to Berkshire's good luck in my 1986 hiring of Ajit Jain. We first met on a Saturday morning, and I quickly asked Ajit what his insurance experience had been. He replied, "None."

  I said, "Nobody's perfect," and hired him. That was my lucky day: Ajit actually *was* as perfect a choice as could have been made. Better yet, he continues to be – 35 years later.

  One final thought about insurance: I believe that it is likely – but *far* from assured – that Berkshire's float can be maintained without our incurring a long-term underwriting loss. I am *certain*, however, that there will be some years when we experience such losses, perhaps involving very large sums.

  Berkshire is constructed to handle catastrophic events as no other insurer – and that priority will remain long after Charlie and I are gone.

Our Four Giants

Through Berkshire, our shareholders own many dozens of businesses. Some of these, in turn, have a collection of subsidiaries of their own. For example, Marmon has more than 100 individual business operations, ranging from the leasing of railroad cars to the manufacture of medical devices.

- Nevertheless, operations of our "Big Four" companies account for a very large chunk of Berkshire's value. Leading this list is our cluster of insurers. Berkshire effectively owns 100% of this group, whose massive float value we earlier described. The invested assets of these insurers are further enlarged by the extraordinary amount of capital we invest to back up their promises.

The insurance business is made to order for Berkshire. The product will never be obsolete, and sales volume will generally increase along with both economic growth and inflation. Also, integrity and capital will forever be important. Our company can and *will* behave well.

There are, of course, other insurers with excellent business models and prospects. Replication of Berkshire's operation, however, would be almost impossible.

- Apple – our runner-up Giant as measured by its yearend market value – is a different sort of holding. Here, our ownership is a mere 5.55%, up from 5.39% a year earlier. That increase sounds like small potatoes. But consider that each *0.1%* of Apple's 2021 earnings amounted to *$100 million*. We spent *no* Berkshire funds to gain our accretion. Apple's repurchases did the job.

  It's important to understand that only *dividends* from Apple are counted in the GAAP earnings Berkshire reports – and last year, Apple paid us $785 million of those. Yet our "share" of Apple's earnings amounted to a staggering $5.6 *billion*. Much of what the company retained was used to repurchase Apple shares, an act we applaud. Tim Cook, Apple's brilliant CEO, quite properly regards users of Apple products as his first love, but all of his other constituencies benefit from Tim's managerial touch as well.

- BNSF, our third Giant, continues to be the number one artery of American commerce, which makes it an indispensable asset for America as well as for Berkshire. If the many essential products BNSF carries were instead hauled by truck, America's carbon emissions would soar.

  Your railroad had record earnings of $6 billion in 2021. Here, it should be noted, we are talking about the old-fashioned sort of earnings that we favor: a figure calculated *after* interest, taxes, depreciation, amortization and all forms of compensation. (Our definition suggests a warning: Deceptive "adjustments" to earnings – to use a polite description – have become both more frequent and more fanciful as stocks have risen. Speaking less politely, I would say that bull markets breed bloviated bull . . ..)

  BNSF trains traveled 143 million miles last year and carried 535 million tons of cargo. Both accomplishments far exceed those of any other American carrier. You can be proud of your railroad.

- BHE, our final Giant, earned a record $4 billion in 2021. That's up more than 30-fold from the *$122 million* earned in 2000, the year that Berkshire first purchased a BHE stake. Now, Berkshire owns 91.1% of the company.

  BHE's record of societal accomplishment is as remarkable as its financial performance. The company had *no* wind or solar generation in 2000. It was then regarded simply as a relatively new and minor participant in the huge electric utility industry. Subsequently, under David Sokol's and Greg Abel's leadership, BHE has become a utility powerhouse (no groaning, please) and a leading force in wind, solar and transmission throughout much of the United States.

  Greg's report on these accomplishments appears on pages A-3 and A-4. The profile you will find there is not in any way one of those currently-fashionable "green-washing" stories. BHE has been faithfully detailing its plans and performance in renewables and transmissions every year since *2007*.

  To further review this information, visit BHE's website at brkenergy.com. There, you will see that the company has *long* been making climate-conscious moves that soak up *all* of its earnings. More opportunities lie ahead. BHE has the management, the experience, the capital and the appetite for the huge power projects that our country needs.

Investments

Now let's talk about companies we *don't* control, a list that again references Apple. Below we list our fifteen largest equity holdings, several of which are selections of Berkshire's two long-time investment managers, Todd Combs and Ted Weschler. At yearend, this valued pair had *total* authority in respect to $34 billion of investments, many of which do not meet the threshold value we use in the table. Also, a significant portion of the dollars that Todd and Ted manage are lodged in various pension plans of Berkshire-owned businesses, with the assets of these plans *not* included in this table.

			12/31/21	
Shares	*Company*	*Percentage of Company Owned*	*Cost**	*Market*
			(in millions)	
151,610,700	American Express Company	19.9	1,287	24,804
907,559,761	Apple Inc.	5.6	31,089	161,155
1,032,852,006	Bank of America Corp.	12.8	14,631	45,952
66,835,615	The Bank of New York Mellon Corp.	8.3	2,918	3,882
225,000,000	BYD Co. Ltd.**	7.7	232	7,693
3,828,941	Charter Communications, Inc.	2.2	643	2,496
38,245,036	Chevron Corporation	2.0	3,420	4,488
400,000,000	The Coca-Cola Company	9.2	1,299	23,684
52,975,000	General Motors Company	3.6	1,616	3,106
89,241,000	ITOCHU Corporation	5.6	2,099	2,728
81,714,800	Mitsubishi Corporation	5.5	2,102	2,593
93,776,200	Mitsui & Co., Ltd.	5.7	1,621	2,219
24,669,778	Moody's Corporation	13.3	248	9,636
143,456,055	U.S. Bancorp	9.7	5,384	8,058
158,824,575	Verizon Communications Inc.	3.8	9,387	8,253
	Others***		26,629	39,972
	Total Equity Investments Carried at Market		$ 104,605	$ 350,719

* This is our actual purchase price and also our tax basis.

** Held by BHE; consequently, Berkshire shareholders have only a 91.1% interest in this position.

*** Includes a $10 billion investment in Occidental Petroleum, consisting of preferred stock and warrants to buy common stock, a combination now being valued at $10.7 billion.

In addition to the footnoted Occidental holding and our various common-stock positions, Berkshire also owns a 26.6% interest in Kraft Heinz (accounted for on the "equity" method, *not* market value, and carried at $13.1 billion) and 38.6% of Pilot Corp., a leader in travel centers that had revenues last year of $45 billion.

Since we purchased our Pilot stake in 2017, this holding has warranted "equity" accounting treatment. Early in 2023, Berkshire will purchase an additional interest in Pilot that will raise our ownership to 80% and lead to our fully consolidating Pilot's earnings, assets and liabilities in our financial statements.

U.S. Treasury Bills

Berkshire's balance sheet includes $144 billion of cash and cash equivalents (excluding the holdings of BNSF and BHE). Of this sum, $120 billion is held in U.S. Treasury bills, all maturing in less than a year. That stake leaves Berkshire financing about ½ of 1% of the publicly-held national debt.

Charlie and I have pledged that Berkshire (along with our subsidiaries other than BNSF and BHE) will always hold more than $30 billion of cash and equivalents. We want your company to be financially impregnable and *never* dependent on the kindness of strangers (or even that of friends). Both of us like to sleep soundly, and we want our creditors, insurance claimants and *you* to do so as well.

But $144 billion?

That imposing sum, I assure you, is not some deranged expression of patriotism. Nor have Charlie and I lost our overwhelming preference for *business* ownership. Indeed, I first manifested my enthusiasm for that 80 years ago, on March 11, 1942, when I purchased three shares of Cities Services preferred stock. Their cost was $114.75 and required *all* of my savings. (The Dow Jones Industrial Average that day closed at 99, a fact that should scream to you: *Never* bet against America.)

After my initial plunge, I always kept at least 80% of my net worth in equities. My *favored* status throughout that period was 100% – and still is. Berkshire's current 80%-or-so position in businesses is a consequence of my failure to find entire companies or small portions thereof (that is, marketable stocks) which meet our criteria for long-term holding.

Charlie and I have endured similar cash-heavy positions from time to time in the past. These periods are never pleasant; they are also never permanent. And, fortunately, we have had a mildly attractive alternative during 2020 and 2021 for deploying capital. Read on.

Share Repurchases

There are three ways that we can increase the value of your investment. The first is *always* front and center in our minds: Increase the long-term earning power of Berkshire's controlled businesses through internal growth or by making acquisitions. Today, internal opportunities deliver far better returns than acquisitions. The size of those opportunities, however, is small compared to Berkshire's resources.

Our second choice is to buy non-controlling part-interests in the many good or great businesses that are publicly traded. From time to time, such possibilities are both numerous and blatantly attractive. Today, though, we find little that excites us.

That's largely because of a truism: Long-term interest rates that are low push the prices of *all* productive investments upward, whether these are stocks, apartments, farms, oil wells, whatever. Other factors influence valuations as well, but interest rates will always be important.

Our final path to value creation is to repurchase Berkshire shares. Through that simple act, we increase *your* share of the many controlled *and* non-controlled businesses Berkshire owns. When the price/value equation is right, this path is the easiest and most certain way for us to increase your wealth. (Alongside the accretion of value to continuing shareholders, a couple of other parties gain: Repurchases are modestly beneficial to the seller of the repurchased shares and to society as well.)

Periodically, as alternative paths become unattractive, repurchases make good sense for Berkshire's owners. During the past two years, we therefore repurchased *9%* of the shares that were outstanding at yearend 2019 for a total cost of $51.7 billion. That expenditure left our continuing shareholders owning about *10%* more of *all* Berkshire businesses, whether these are wholly-owned (such as BNSF and GEICO) or partly-owned (such as Coca-Cola and Moody's).

I want to underscore that for Berkshire repurchases to make sense, our shares *must* offer appropriate value. We don't want to overpay for the shares of other companies, and it would be *value-destroying* if we were to overpay when we are buying Berkshire. As of February 23, 2022, since yearend we repurchased additional shares at a cost of $1.2 billion. Our appetite remains large but will always remain price-dependent.

It should be noted that Berkshire's buyback opportunities are limited *because* of its high-class investor base. If our shares were heavily held by short-term speculators, both price volatility and transaction volumes would materially increase. That kind of reshaping would offer us far greater opportunities for creating value by making repurchases. Nevertheless, Charlie and I far prefer the owners we have, even though their admirable buy-and-keep attitudes limit the extent to which long-term shareholders can profit from opportunistic repurchases.

Finally, one easily-overlooked value calculation specific to Berkshire: As we've discussed, insurance "float" of the right sort is of great value to us. As it happens, repurchases automatically increase the amount of "float" *per share*. That figure has increased during the past two years by 25% – going from $79,387 per "A" share to $99,497, a meaningful gain that, as noted, owes some thanks to repurchases.

A Wonderful Man and a Wonderful Business

Last year, Paul Andrews died. Paul was the founder and CEO of TTI, a Fort Worth-based subsidiary of Berkshire. Throughout his life – in both his business *and* his personal pursuits – Paul quietly displayed all the qualities that Charlie and I admire. His story should be told.

In 1971, Paul was working as a purchasing agent for General Dynamics when the roof fell in. After losing a huge defense contract, the company fired thousands of employees, including Paul.

With his first child due soon, Paul decided to bet on himself, using $500 of his savings to found Tex-Tronics (later renamed TTI). The company set itself up to distribute small electronic components, and first-year sales totaled $112,000. Today, TTI markets more than one million different items with annual volume of $7.7 billion.

But back to 2006: Paul, at 63, then found himself happy with his family, his job, and his associates. But he had one nagging worry, heightened because he had recently witnessed a friend's early death and the disastrous results that followed for that man's family and business. What, Paul asked himself in 2006, would happen to the many people depending on *him* if he should unexpectedly die?

For a year, Paul wrestled with his options. Sell to a competitor? From a strictly economic viewpoint, that course made the most sense. After all, competitors could envision lucrative "synergies" – savings that would be achieved as the acquiror slashed duplicated functions at TTI.

But . . . Such a purchaser would most certainly also retain *its* CFO, *its* legal counsel, *its* HR unit. Their TTI counterparts would therefore be sent packing. And ugh! If a new distribution center were to be needed, the acquirer's home city would certainly be favored over Fort Worth.

Whatever the financial benefits, Paul quickly concluded that selling to a competitor was not for him. He next considered seeking a financial buyer, a species once labeled – aptly so – a leveraged buyout firm. Paul knew, however, that such a purchaser would be focused on an "exit strategy." And who could know what that would be? Brooding over it all, Paul found himself having no interest in handing his 35-year-old creation over to a reseller.

When Paul met me, he explained why he had eliminated these two alternatives as buyers. He then summed up his dilemma by saying – in far more tactful phrasing than this – "After a year of pondering the alternatives, I want to sell to Berkshire because you are the only guy left." So, I made an offer and Paul said "Yes." One meeting; one lunch; one deal.

To say we both lived happily ever after is an understatement. When Berkshire purchased TTI, the company employed 2,387. Now the number is 8,043. A large percentage of that growth took place in Fort Worth and environs. Earnings have increased 673%.

Annually, I would call Paul and tell him his salary should be substantially increased. Annually, he would tell me, "We can talk about that next year, Warren; I'm too busy now."

When Greg Abel and I attended Paul's memorial service, we met children, grandchildren, long-time associates (including TTI's first employee) and John Roach, the former CEO of a Fort Worth company Berkshire had purchased in 2000. John had steered his friend Paul to Omaha, instinctively knowing we would be a match.

At the service, Greg and I heard about the multitudes of people and organizations that Paul had silently supported. The breadth of his generosity was extraordinary – geared always to improving the lives of others, particularly those in Fort Worth.

In all ways, Paul was a class act.

* * * * * * * * * * * *

Good luck – occasionally *extraordinary* luck – has played its part at Berkshire. If Paul and I had not enjoyed a mutual friend – John Roach – TTI would not have found its home with us. But that ample serving of luck was only the beginning. TTI was soon to lead Berkshire to its most important acquisition.

Every fall, Berkshire directors gather for a presentation by a few of our executives. We sometimes choose the site based upon the location of a recent acquisition, by that means allowing directors to meet the new subsidiary's CEO and learn more about the acquiree's activities.

In the fall of 2009, we consequently selected Fort Worth so that we could visit TTI. At that time, BNSF, which also had Fort Worth as its hometown, was the third-largest holding among our marketable equities. Despite that large stake, I had never visited the railroad's headquarters.

Deb Bosanek, my assistant, scheduled our board's opening dinner for October 22. Meanwhile, I arranged to arrive earlier that day to meet with Matt Rose, CEO of BNSF, whose accomplishments I had long admired. When I made the date, I had no idea that our get-together would coincide with BNSF's third-quarter earnings report, which was released late on the 22nd.

The market reacted badly to the railroad's results. The Great Recession was in full force in the third quarter, and BNSF's earnings reflected that slump. The economic outlook was also bleak, and Wall Street wasn't feeling friendly to railroads – or much else.

On the following day, I again got together with Matt and suggested that Berkshire would offer the railroad a better long-term home than it could expect as a public company. I also told him the maximum price that Berkshire would pay.

Matt relayed the offer to his directors and advisors. Eleven busy days later, Berkshire and BNSF announced a firm deal. And here I'll venture a rare prediction: BNSF will be a key asset for Berkshire *and* our country a century from now.

The BNSF acquisition would never have happened if Paul Andrews hadn't sized up Berkshire as the right home for TTI.

Thanks

I taught my first investing class 70 years ago. Since then, I have enjoyed working almost every year with students of all ages, finally "retiring" from that pursuit in 2018.

Along the way, my toughest audience was my grandson's fifth-grade class. The 11-year-olds were squirming in their seats and giving me blank stares until I mentioned Coca-Cola and its famous secret formula. Instantly, every hand went up, and I learned that "secrets" are catnip to kids.

Teaching, like writing, has helped me develop and clarify my own thoughts. Charlie calls this phenomenon the orangutan effect: If you sit down with an orangutan and carefully explain to it one of your cherished ideas, you may leave behind a puzzled primate, but will yourself exit thinking more clearly.

Talking to university students is far superior. I have urged that they seek employment in (1) the field and (2) with the kind of people they would select, if they had *no need* for money. Economic realities, I acknowledge, may interfere with that kind of search. Even so, I urge the students never to give up the quest, for when they find that sort of job, they will no longer be "working."

Charlie and I, ourselves, followed that liberating course after a few early stumbles. We both started as part-timers at my grandfather's grocery store, Charlie in 1940 and I in 1942. We were each assigned boring tasks and paid little, definitely not what we had in mind. Charlie later took up law, and I tried selling securities. Job satisfaction continued to elude us.

Finally, at Berkshire, we found what we love to do. With very few exceptions, we have now "worked" for many decades with people whom we like and trust. It's a joy in life to join with managers such as Paul Andrews or the Berkshire families I told you about last year. In our home office, we employ decent and talented people – no jerks. Turnover averages, perhaps, one person per year.

I would like, however, to emphasize a further item that turns our jobs into fun and satisfaction - - - - working for you. There is nothing more rewarding to Charlie and me than enjoying the trust of *individual* long-term shareholders who, for many decades, have joined us with the expectation that we would be a reliable custodian of their funds.

Obviously, we can't select our owners, as we could do if our *form* of operation were a partnership. Anyone can buy shares of Berkshire today with the intention of soon reselling them. For sure, we get a few of that type of shareholder, just as we get index funds that own huge amounts of Berkshire simply because they are required to do so.

To a truly unusual degree, however, Berkshire has as owners a very large corps of individuals and families that have elected to join us with an intent approaching "til death do us part." Often, they have trusted us with a large – some might say *excessive* – portion of their savings.

Berkshire, these shareholders would sometimes acknowledge, might be far from the *best* selection they could have made. But they would add that Berkshire would rank high among those with which they would be most comfortable. And people who are comfortable with their investments will, on average, achieve better results than those who are motivated by ever-changing headlines, chatter and promises.

Long-term individual owners are both the "partners" Charlie and I have always sought and the ones we constantly have in mind as we make decisions at Berkshire. To them we say, "It feels good to 'work' for you, and you have our thanks for your trust."

The Annual Meeting

Clear your calendar! Berkshire will have its annual gathering of capitalists in Omaha on Friday, April 29th through Sunday, May 1st. The details regarding the weekend are laid out on pages A-1 and A-2. Omaha eagerly awaits you, as do I.

I will end this letter with a sales pitch. "Cousin" Jimmy Buffett has designed a pontoon "party" boat that is now being manufactured by Forest River, a Berkshire subsidiary. The boat will be introduced on April 29 at our Berkshire Bazaar of Bargains. And, for two days only, shareholders will be able to purchase Jimmy's masterpiece at a 10% discount. Your bargain-hunting chairman will be buying a boat for his family's use. Join me.

February 26, 2022

Warren E. Buffett
Chairman of the Board

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Market Value of Berkshire	Annual Percentage Change in S&P 500 with Dividends Included
1965	49.5	10.0
1966	(3.4)	(11.7)
1967	13.3	30.9
1968	77.8	11.0
1969	19.4	(8.4)
1970	(4.6)	3.9
1971	80.5	14.6
1972	8.1	18.9
1973	(2.5)	(14.8)
1974	(48.7)	(26.4)
1975	2.5	37.2
1976	129.3	23.6
1977	46.8	(7.4)
1978	14.5	6.4
1979	102.5	18.2
1980	32.8	32.3
1981	31.8	(5.0)
1982	38.4	21.4
1983	69.0	22.4
1984	(2.7)	6.1
1985	93.7	31.6
1986	14.2	18.6
1987	4.6	5.1
1988	59.3	16.6
1989	84.6	31.7
1990	(23.1)	(3.1)
1991	35.6	30.5
1992	29.8	7.6
1993	38.9	10.1
1994	25.0	1.3
1995	57.4	37.6
1996	6.2	23.0
1997	34.9	33.4
1998	52.2	28.6
1999	(19.9)	21.0
2000	26.6	(9.1)
2001	6.5	(11.9)
2002	(3.8)	(22.1)
2003	15.8	28.7
2004	4.3	10.9
2005	0.8	4.9
2006	24.1	15.8
2007	28.7	5.5
2008	(31.8)	(37.0)
2009	2.7	26.5
2010	21.4	15.1
2011	(4.7)	2.1
2012	16.8	16.0
2013	32.7	32.4
2014	27.0	13.7
2015	(12.5)	1.4
2016	23.4	12.0
2017	21.9	21.8
2018	2.8	(4.4)
2019	11.0	31.5
2020	2.4	18.4
2021	29.6	28.7
2022	4.0	(18.1)
Compounded Annual Gain – 1965-2022	19.8%	9.9%
Overall Gain – 1964-2022	3,787,464%	24,708%

Note: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Charlie Munger, my long-time partner, and I have the job of managing the savings of a great number of *individuals*. We are grateful for their enduring trust, a relationship that often spans much of their adult lifetime. It is those dedicated savers that are forefront in my mind as I write this letter.

A common belief is that people choose to save when young, expecting thereby to maintain their living standards after retirement. Any assets that remain at death, this theory says, will usually be left to their families or, possibly, to friends and philanthropy.

Our experience has differed. We believe Berkshire's individual holders largely to be of the once-a-saver, always-a-saver variety. Though these people live well, they eventually dispense most of their funds to philanthropic organizations. These, in turn, redistribute the funds by expenditures intended to improve the lives of a great many people who are unrelated to the original benefactor. Sometimes, the results have been spectacular.

The disposition of money unmasks humans. Charlie and I watch with pleasure the vast flow of Berkshire-generated funds to public needs and, alongside, the infrequency with which our shareholders opt for look-at-me assets and dynasty-building.

Who *wouldn't* enjoy working for shareholders like ours?

What We Do

Charlie and I allocate your savings at Berkshire between two related forms of ownership. First, we invest in businesses that we control, usually buying 100% of each. Berkshire directs capital allocation at these subsidiaries and selects the CEOs who make day-by-day operating decisions. When large enterprises are being managed, both trust and rules are essential. Berkshire emphasizes the former to an unusual – some would say extreme – degree. Disappointments are inevitable. We are understanding about *business* mistakes; our tolerance for personal misconduct is zero.

In our second category of ownership, we buy publicly-traded stocks through which we passively own *pieces* of businesses. Holding *these* investments, we have no say in management.

Our goal in both forms of ownership is to make meaningful investments in *businesses* with both long-lasting favorable economic characteristics and trustworthy managers. Please note particularly that we own publicly-traded stocks based on our expectations about their long-term *business* performance, not because we view them as vehicles for adroit purchases and sales. That point is crucial: Charlie and I are *not* stock-pickers; we are business-pickers.

Over the years, I have made many mistakes. Consequently, our extensive collection of businesses currently consists of a few enterprises that have truly extraordinary economics, many that enjoy very good economic characteristics, and a large group that are marginal. Along the way, other businesses in which I have invested have died, their products unwanted by the public. Capitalism has two sides: The system creates an ever-growing pile of losers while concurrently delivering a gusher of improved goods and services. Schumpeter called this phenomenon "creative destruction."

One advantage of our publicly-traded segment is that – episodically – it becomes easy to buy *pieces* of wonderful businesses at wonderful prices. It's crucial to understand that stocks often trade at truly foolish prices, both high and low. "Efficient" markets exist only in textbooks. In truth, marketable stocks and bonds are baffling, their behavior usually understandable only in retrospect.

Controlled businesses are a different breed. They sometimes command ridiculously *higher* prices than justified but are almost never available at bargain valuations. Unless under duress, the owner of a controlled business gives no thought to selling at a panic-type valuation.

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At this point, a report card from me is appropriate: In 58 years of Berkshire management, most of my capital-allocation decisions have been no better than so-so. In some cases, also, bad moves by me have been rescued by very large doses of luck. (Remember our escapes from near-disasters at USAir and Salomon? I certainly do.)

Our satisfactory results have been the product of about a dozen truly good decisions – that would be about one every five years – *and* a sometimes-forgotten advantage that favors long-term investors such as Berkshire. Let's take a peek behind the curtain.

The Secret Sauce

In August 1994 – yes, 1994 – Berkshire *completed* its seven-year purchase of the 400 million shares of Coca-Cola we now own. The total cost was $1.3 billion – then a very meaningful sum at Berkshire.

The cash dividend we received from Coke in 1994 was $75 million. By 2022, the dividend had increased to *$704* million. Growth occurred every year, just as certain as birthdays. All Charlie and I were required to do was cash Coke's quarterly dividend checks. We expect that those checks are highly likely to grow.

American Express is much the same story. Berkshire's purchases of Amex were essentially completed in 1995 and, coincidentally, also cost $1.3 billion. Annual dividends received from this investment have grown from $41 million to *$302* million. Those checks, too, seem highly likely to increase.

These dividend gains, though pleasing, are *far* from spectacular. But they bring with them important gains in stock prices. At yearend, our Coke investment was valued at $25 billion while Amex was recorded at $22 billion. Each holding now accounts for roughly 5% of Berkshire's net worth, akin to its weighting long ago.

Assume, for a moment, I had made a similarly-sized investment mistake in the 1990s, one that flat-lined and simply retained its $1.3 billion value in 2022. (An example would be a high-grade 30-year bond.) That disappointing investment would now represent an insignificant 0.3% of Berkshire's net worth and would be delivering to us an unchanged $80 million or so of annual income.

The lesson for investors: The weeds wither away in significance as the flowers bloom. Over time, it takes just a few winners to work wonders. And, yes, it helps to start early and live into your 90s as well.

The Past Year in Brief

Berkshire had a good year in 2022. The company's *operating earnings* – our term for income calculated using Generally Accepted Accounting Principles ("GAAP"), *exclusive* of capital gains or losses from equity holdings – set a record at $30.8 billion. Charlie and I focus on this operational figure and urge you to do so as well. The GAAP figure, *absent our adjustment*, fluctuates wildly and capriciously at every reporting date. Note its acrobatic behavior in 2022, which is in no way unusual:

	Earnings in $ billions	
2022 Quarter	"Operating Earnings"	GAAP Earnings We are Required to Report
1	7.0	5.5
2	9.3	(43.8)
3	7.8	(2.7)
4	6.7	18.2

The GAAP earnings are 100% misleading when viewed quarterly or even annually. Capital gains, to be sure, have been hugely important to Berkshire over past decades, and we expect them to be meaningfully positive in future decades. But their quarter-by-quarter gyrations, regularly and mindlessly headlined by media, totally misinform investors.

A second positive development for Berkshire last year was our purchase of Alleghany Corporation, a property-casualty insurer captained by Joe Brandon. I've worked with Joe in the past, and he understands both Berkshire and insurance. Alleghany delivers special value to us because Berkshire's unmatched financial strength allows its insurance subsidiaries to follow valuable and enduring investment strategies unavailable to virtually all competitors.

Aided by Alleghany, our insurance float increased during 2022 from $147 billion to $164 billion. With disciplined underwriting, these funds have a decent chance of being *cost-free* over time. Since purchasing our first property-casualty insurer in 1967, Berkshire's float has increased 8,000-fold through acquisitions, operations and innovations. Though *not* recognized in our financial statements, this float has been an extraordinary asset for Berkshire. New shareholders can get an understanding of its value by reading our annually updated explanation of float on page A-2.

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A *very* minor gain in per-share intrinsic value took place in 2022 through Berkshire share repurchases as well as similar moves at Apple and American Express, both significant investees of ours. At Berkshire, we directly increased your interest in our unique collection of businesses by repurchasing 1.2% of the company's outstanding shares. At Apple and Amex, repurchases increased Berkshire's ownership a bit without any cost to us.

The math isn't complicated: When the share count goes down, *your* interest in our many businesses goes *up*. Every small bit helps *if repurchases are made at value-accretive prices.* Just as surely, when a company overpays for repurchases, the continuing shareholders *lose*. At such times, gains flow only to the *selling* shareholders and to the friendly, but expensive, investment banker who recommended the foolish purchases.

Gains from value-accretive repurchases, it should be emphasized, benefit *all* owners – in *every* respect. Imagine, if you will, three fully-informed shareholders of a local auto dealership, one of whom manages the business. Imagine, further, that one of the passive owners wishes to sell his interest back to the company at a price attractive to the two continuing shareholders. When completed, has this transaction harmed anyone? Is the manager somehow favored over the continuing passive owners? Has the public been hurt?

When you are told that *all* repurchases are harmful to shareholders *or* to the country, *or* particularly beneficial to CEOs, you are listening to either an economic illiterate or a silver-tongued demagogue (characters that are *not* mutually exclusive).

Almost endless details of Berkshire's 2022 operations are laid out on pages K-33 – K-66. Charlie and I, along with many Berkshire shareholders, enjoy poring over the many facts and figures laid out in that section. These pages are *not*, however, required reading. There are many Berkshire centimillionaires and, yes, billionaires who have never studied our financial figures. They simply know that Charlie and I – along with our families and close friends – continue to have very significant investments in Berkshire, and they trust us to treat their money as we do our own.

And *that* is a promise we can make.

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Finally, an important warning: Even the *operating* earnings figure that we favor can easily be manipulated by managers who wish to do so. Such tampering is often thought of as sophisticated by CEOs, directors and their advisors. Reporters and analysts embrace its existence as well. Beating "expectations" is heralded as a managerial triumph.

That activity is disgusting. It requires no talent to manipulate numbers: Only a deep desire to deceive is required. "Bold imaginative accounting," as a CEO once described his deception to me, has become one of the shames of capitalism.

58 Years – and a Few Figures

In 1965, Berkshire was a one-trick pony, the owner of a venerable – but doomed – New England textile operation. With that business on a death march, Berkshire needed an immediate fresh start. Looking back, I was slow to recognize the severity of its problems.

And then came a stroke of good luck: National Indemnity became available in 1967, and we shifted our resources toward insurance and other non-textile operations.

Thus began our journey to 2023, a bumpy road involving a combination of *continuous* savings by our owners (that is, by their retaining earnings), the power of compounding, our avoidance of *major* mistakes and – most important of all – the American Tailwind. America would have done fine without Berkshire. The reverse is *not* true.

Berkshire now enjoys major ownership in an unmatched collection of huge and diversified businesses. Let's first look at the 5,000 or so publicly-held companies that trade daily on NASDAQ, the NYSE and related venues. Within this group is housed the members of the S&P 500 Index, an elite collection of large and well-known American companies.

In aggregate, the 500 earned $1.8 trillion in 2021. I don't yet have the final results for 2022. Using, therefore, the 2021 figures, only 128 of the 500 (including Berkshire itself) earned $3 billion or more. Indeed, 23 lost money.

At yearend 2022, Berkshire was the largest owner of *eight* of these giants: American Express, Bank of America, Chevron, Coca-Cola, HP Inc., Moody's, Occidental Petroleum and Paramount Global.

In addition to those eight investees, Berkshire owns 100% of BNSF and 92% of BH Energy, each with earnings that exceed the $3 billion mark noted above ($5.9 billion at BNSF and $4.3 billion at BHE). Were these companies publicly-owned, they would replace two present members of the 500. All told, our ten controlled and non-controlled behemoths leave Berkshire more broadly aligned with the country's economic future than is the case at any other U.S. company. (This calculation leaves aside "fiduciary" operations such as pension funds and investment companies.) In addition, Berkshire's insurance operation, though conducted through many individually-managed subsidiaries, has a value comparable to BNSF or BHE.

As for the future, Berkshire will always hold a boatload of cash and U.S. Treasury bills along with a wide array of businesses. We will also avoid behavior that could result in *any* uncomfortable cash needs at inconvenient times, including financial panics and unprecedented insurance losses. Our CEO will always be the Chief Risk Officer – a task it is irresponsible to delegate. Additionally, our future CEOs will have a significant part of their net worth in Berkshire shares, bought with their own money. *And* yes, our shareholders will continue to save and prosper by retaining earnings.

At Berkshire, there will be no finish line.

Some Surprising Facts About Federal Taxes

During the decade ending in 2021, the United States Treasury received about $32.3 trillion in taxes while it spent $43.9 trillion.

Though economists, politicians and many of the public have opinions about the consequences of that huge imbalance, Charlie and I plead ignorance and firmly believe that near-term economic and market forecasts are worse than useless. Our job is to manage Berkshire's operations and finances in a manner that will achieve an acceptable result over time and that will preserve the company's unmatched staying power when financial panics or severe worldwide recessions occur. Berkshire also offers some modest protection from runaway inflation, but this attribute is *far* from perfect. Huge and entrenched fiscal deficits have consequences.

The $32 trillion of revenue was garnered by the Treasury through individual income taxes (48%), social security and related receipts (34½%), corporate income tax payments (8½%) and a wide variety of lesser levies. Berkshire's contribution via the corporate income tax was $32 billion during the decade, almost exactly a tenth of 1% of *all* money that the Treasury collected.

And that means – brace yourself – had there been roughly 1,000 taxpayers in the U.S. matching Berkshire's payments, no other businesses nor any of the country's 131 million households would have needed to pay *any* taxes to the federal government. Not a dime.

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Millions, billions, trillions – we all know the words, but the sums involved are almost impossible to comprehend. Let's put physical dimensions to the numbers:

- If you convert $1 million into newly-printed $100 bills, you will have a stack that reaches your chest.
- Perform the same exercise with $1 *billion* – this is getting exciting! – and the stack reaches about ¾ of a mile into the sky.
- Finally, imagine piling up $32 billion, the total of Berkshire's 2012-21 federal income tax payments. Now the stack grows to more than 21 miles in height, about three times the level at which commercial airplanes usually cruise.

When it comes to federal taxes, individuals who own Berkshire can unequivocally state "I gave at the office."

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At Berkshire we hope *and expect* to pay much more in taxes during the next decade. We owe the country no less: America's dynamism has made a huge contribution to whatever success Berkshire has achieved – a contribution Berkshire will always need. We *count* on the American Tailwind and, though it has been becalmed from time to time, its propelling force has always returned.

I have been investing for 80 years – more than one-third of our country's lifetime. Despite our citizens' penchant – almost enthusiasm – for self-criticism and self-doubt, I have yet to see a time when it made sense to make a long-term bet against America. And I doubt very much that any reader of this letter will have a different experience in the future.

Nothing Beats Having a Great Partner

Charlie and I think pretty much alike. But what it takes me a page to explain, he sums up in a sentence. His version, moreover, is always more clearly reasoned and also more artfully – some might add bluntly – stated.

Here are a few of his thoughts, many lifted from a very recent podcast:

- The world is full of foolish gamblers, and they will not do as well as the patient investor.
- If you don't see the world the way it is, it's like judging something through a distorted lens.
- All I want to know is where I'm going to die, so I'll never go there. And a related thought: Early on, write your desired obituary – and then behave accordingly.
- If you don't care whether you are rational or not, you won't work on it. Then you will stay irrational and get lousy results.

- Patience can be learned. Having a long attention span and the ability to concentrate on one thing for a long time is a huge advantage.
- You can learn a lot from dead people. Read of the deceased you admire and detest.
- Don't bail away in a sinking boat if you can swim to one that is seaworthy.
- A great company keeps working after you are not; a mediocre company won't do that.
- Warren and I don't focus on the froth of the market. We seek out good long-term investments and stubbornly hold them for a long time.
- Ben Graham said, "Day to day, the stock market is a voting machine; in the long term it's a weighing machine." If you keep making something more valuable, then some wise person is going to notice it and start buying.
- There is no such thing as a 100% sure thing when investing. Thus, the use of leverage is dangerous. A string of wonderful numbers times zero will always equal zero. Don't count on getting rich twice.
- You don't, however, need to own a lot of things in order to get rich.
- You have to keep learning if you want to become a great investor. When the world changes, *you* must change.
- Warren and I hated railroad stocks for decades, but the world changed and finally the country had four huge railroads of vital importance to the American economy. We were slow to recognize the change, but better late than never.
- Finally, *I* will add two short sentences by Charlie that have been his decision-clinchers for decades: "Warren, think more about it. You're smart and I'm right."

And so it goes. I never have a phone call with Charlie without learning something. And, while he makes me think, he also makes me laugh.

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I will add to Charlie's list a rule of my own: Find a very smart high-grade partner – preferably slightly older than you – and then listen *very* carefully to what he says.

A Family Gathering in Omaha

Charlie and I are shameless. Last year, at our first shareholder get-together in three years, we greeted you with our usual commercial hustle.

From the opening bell, we went straight for your wallet. In short order, our See's kiosk sold you *eleven tons* of nourishing peanut brittle and chocolates. In our P.T. Barnum pitch, we promised you longevity. After all, what else but candy from See's could account for Charlie and me making it to 99 and 92?

I know you can't wait to hear the specifics of last year's hustle.

On Friday, the doors were open from noon until 5 p.m., and our candy counters rang up 2,690 individual sales. On Saturday, See's registered an additional 3,931 transactions between 7 a.m. and 4:30 p.m., despite the fact that 6½ of the 9½ operating hours occurred while our movie and the question-and-answer session were limiting commercial traffic.

Do the math: See's rang up about 10 sales per minute during its prime operating time (racking up $400,309 of volume during the two days), with all the goods purchased at a single location selling products that haven't been materially altered in 101 years. What worked for See's in the days of Henry Ford's model T works now.

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Charlie, I, and the entire Berkshire bunch look forward to seeing you in Omaha on May 5-6. We will have a good time and so will you.

February 25, 2023

Warren E. Buffett
Chairman of the Board

Charlie Munger – The Architect of Berkshire Hathaway

Charlie Munger died on November 28, just 33 days before his 100th birthday.

Though born and raised in Omaha, he spent 80% of his life domiciled elsewhere. Consequently, it was not until 1959 when he was 35 that I first met him. In 1962, he decided that he should take up money management.

Three years later he told me – correctly! – that I had made a dumb decision in buying control of Berkshire. **But**, he assured me, since I had already made the move, he would tell me how to correct my mistake.

In what I next relate, bear in mind that Charlie and his family did not have a dime invested in the small investing partnership that I was then managing and whose money I had used for the Berkshire purchase. Moreover, neither of us expected that Charlie would **ever** own a share of Berkshire stock.

Nevertheless, Charlie, in 1965, promptly advised me: "Warren, forget about ever buying another company like Berkshire. But now that you control Berkshire, add to it wonderful businesses purchased at fair prices and give up buying fair businesses at wonderful prices. In other words, abandon everything you learned from your hero, Ben Graham. It works but only when practiced at small scale." With much back-sliding I subsequently followed his instructions.

Many years later, Charlie became my partner in running Berkshire and, repeatedly, jerked me back to sanity when my old habits surfaced. Until his death, he continued in this role and together we, along with those who early on invested with us, ended up far better off than Charlie and I had ever dreamed possible.

In reality, Charlie was the "architect" of the present Berkshire, and I acted as the "general contractor" to carry out the day-by-day construction of his vision.

Charlie never sought to take credit for his role as creator but instead let me take the bows and receive the accolades. In a way his relationship with me was part older brother, part loving father. Even when he knew he was right, he gave me the reins, and when I blundered he never – **never** –reminded me of my mistake.

In the physical world, great buildings are linked to their architect while those who had poured the concrete or installed the windows are soon forgotten. Berkshire has become a great company. Though I have long been in charge of the construction crew; **Charlie** should **forever** be credited with being the architect.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

Berkshire has more than three million shareholder accounts. I am charged with writing a letter every year that will be useful to this diverse and ever-changing group of owners, many of whom wish to learn more about their investment.

Charlie Munger, for decades my partner in managing Berkshire, viewed this obligation identically and would expect me to communicate with you this year in the regular manner. He and I were of one mind regarding our responsibilities to Berkshire shareholders.

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Writers find it useful to picture the reader they seek, and often they are hoping to attract a mass audience. At Berkshire, we have a more limited target: investors who trust Berkshire with their savings without any expectation of resale (resembling in attitude people who save in order to buy a farm or rental property rather than people who prefer using their excess funds to purchase lottery tickets or "hot" stocks).

Over the years, Berkshire has attracted an unusual number of such "lifetime" shareholders and their heirs. We cherish their presence and believe they are entitled to hear every year both the good and bad news, delivered directly from their CEO and *not* from an investor-relations officer or communications consultant forever serving up optimism and syrupy mush.

In visualizing the owners that *Berkshire* seeks, I am lucky to have the perfect mental model, my sister, Bertie. Let me introduce her.

For openers, Bertie is smart, wise and likes to challenge my thinking. We have never, however, had a shouting match or anything close to a ruptured relationship. We never will.

Furthermore, Bertie, and her three daughters as well, have a large portion of their savings in Berkshire shares. Their ownership spans decades, and every year Bertie will read what I have to say. My job is to anticipate her questions and give her honest answers.

Bertie, like most of you, understands many accounting terms, but she is not ready for a CPA exam. She follows business news – reading four newspapers daily – but doesn't consider herself an economic expert. She is sensible – *very* sensible – instinctively knowing that pundits should *always* be ignored. After all, if *she* could reliably predict tomorrow's winners, would she freely share her valuable insights and thereby increase competitive buying? That would be like finding gold and then handing a map to the neighbors showing its location.

Bertie understands the power – for good or bad – of incentives, the weaknesses of humans, the "tells" that can be recognized when observing human behavior. She knows who is "selling" and who can be trusted. In short, she is nobody's fool.

So, what would interest Bertie this year?

Operating Results, Fact and Fiction

Let's begin with the numbers. The *official* annual report begins on K-1 and extends for 124 pages. It is filled with a vast amount of information – some important, some trivial.

Among its disclosures many owners, along with financial reporters, will focus on page K-72. There, they will find the proverbial "bottom line" labeled "Net earnings (loss)." The numbers read $90 billion for 2021, ($23 billion) for 2022 and $96 billion for 2023.

What in the world is going on?

You seek guidance and are told that the procedures for calculating these "earnings" are promulgated by a sober and credentialed Financial Accounting Standards Board ("FASB"), mandated by a dedicated and hard-working Securities and Exchange Commission ("SEC") and audited by the world-class professionals at Deloitte & Touche ("D&T"). On page K-67, D&T pulls no punches: "In our opinion, the financial statements . . . . . present fairly, *in all material respects* (italics mine), the financial position of the Company . . . . . and the results of its operations . . . . . for each of the three years in the period ended December 31, 2023 . . . . ."

So sanctified, this worse-than-useless "net income" figure quickly gets transmitted throughout the world via the internet and media. All parties believe they have done their job – and, legally, they have.

We, however, are left uncomfortable. At Berkshire, *our* view is that "earnings" should be a sensible concept that Bertie will find somewhat useful – *but only as a starting point* – in evaluating a business. Accordingly, Berkshire *also* reports to Bertie and you what we call "operating earnings." Here is the story *they* tell: $27.6 billion for 2021; $30.9 billion for 2022 and $37.4 billion for 2023.

The *primary* difference between the mandated figures and the ones Berkshire prefers is that we exclude unrealized capital gains or losses that at times can exceed $5 billion *a day*. Ironically, our preference was pretty much the rule until 2018, when the "improvement" was mandated. Galileo's experience, several centuries ago, should have taught us not to mess with mandates from on high. But, at Berkshire, we can be stubborn.

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Make no mistake about the significance of capital gains: I expect them to be a *very* important component of Berkshire's value accretion during the decades ahead. Why else would we commit huge dollar amounts of your money (and Bertie's) to marketable equities just as I have been doing with my own funds throughout my investing lifetime?

I can't remember a period since March 11, 1942 – the date of my first stock purchase – that I have *not* had a majority of my net worth in equities, *U.S.-based* equities. And so far, so good. The Dow Jones Industrial Average fell below 100 on that fateful day in 1942 when I "pulled the trigger." I was down about $5 by the time school was out. Soon, things turned around and now that index hovers around 38,000. America has been a terrific country for investors. All they have needed to do is sit quietly, listening to no one.

It is more than silly, however, to make judgments about Berkshire's investment value based on "earnings" that incorporate the capricious *day-by-day* and, yes, even year-by-year movements of the stock market. As Ben Graham taught me, "In the short run the market acts as a voting machine; in the long run it becomes a weighing machine."

What We Do

Our goal at Berkshire is simple: We want to own either all or a portion of businesses that enjoy good economics that are fundamental and enduring. Within capitalism, some businesses will flourish for a very long time while others will prove to be sinkholes. It's harder than you would think to predict which will be the winners and losers. And those who tell you they know the answer are usually either self-delusional or snake-oil salesmen.

At Berkshire, we particularly favor the rare enterprise that can deploy *additional* capital at high returns in the future. Owning only one of these companies – and simply sitting tight – can deliver wealth almost beyond measure. Even heirs to such a holding can – ugh! – sometimes live a lifetime of leisure.

We also hope these favored businesses are run by able and trustworthy managers, though that is a more difficult judgment to make, however, and Berkshire has had its share of disappointments.

In 1863, Hugh McCulloch, the first Comptroller of the United States, sent a letter to all national banks. His instructions included this warning: "Never deal with a rascal under the expectation that you can prevent him from cheating you." Many bankers who thought they could "manage" the rascal problem have learned the wisdom of Mr. McCulloch's advice – and I have as well. People are not that easy to read. Sincerity and empathy can easily be faked. That is as true now as it was in 1863.

This combination of the two necessities I've described for acquiring businesses has for long been our goal in purchases and, for a while, we had an abundance of candidates to evaluate. If I missed one – and I missed plenty – another always came along.

Those days are long behind us; *size* did us in, though increased competition for purchases was also a factor.

Berkshire now has – *by far* – the largest GAAP net worth recorded by *any* American business. Record operating income and a strong stock market led to a yearend figure of $561 billion. The *total* GAAP net worth for the other 499 S&P companies – a who's who of American business – was $8.9 trillion in 2022. (The 2023 number for the S&P has not yet been tallied but is unlikely to materially exceed $9.5 trillion.)

By this measure, Berkshire now occupies nearly 6% of the universe in which it operates. Doubling our huge base is simply not possible within, say, a five-year period, particularly because we are highly averse to issuing shares (an act that immediately juices net worth).

There remain only a handful of companies in this country capable of truly moving the needle at Berkshire, and they have been endlessly picked over by us and by others. Some we can value; some we can't. And, if we can, they have to be attractively priced. Outside the U.S., there are essentially no candidates that are *meaningful* options for capital deployment at Berkshire. All in all, we have *no* possibility of eye-popping performance.

Nevertheless, managing Berkshire is mostly fun and always interesting. On the positive side, after 59 years of assemblage, the company now owns either a portion or 100% of various businesses that, on a weighted basis, have somewhat better prospects than exist at most large American companies. By both luck and pluck, a few huge winners have emerged from a great many dozens of decisions. And we now have a small cadre of long-time managers who never muse about going elsewhere and who regard 65 as just another birthday.

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Berkshire benefits from an unusual constancy and clarity of purpose. While we emphasize treating our employees, communities and suppliers well – who *wouldn't* wish to do so? – our allegiance will *always* be to our country and our shareholders. We never forget that, though your money is *comingled* with ours, it does not *belong* to us.

With that focus, and with our present mix of businesses, Berkshire *should* do a bit better than the average American corporation and, more important, *should* also operate with materially less risk of permanent loss of capital. Anything beyond "slightly better," though, is wishful thinking. This modest aspiration wasn't the case when Bertie went all-in on Berkshire – but it is now.

Our Not-So-Secret Weapon

Occasionally, markets and/or the economy will cause stocks and bonds of some large and fundamentally good businesses to be strikingly mispriced. Indeed, markets can – and will – unpredictably seize up or even *vanish* as they did for four months in 1914 and for a few days in 2001. If you believe that American investors are now more stable than in the past, think back to September 2008. Speed of communication and the wonders of technology *facilitate* instant worldwide paralysis, and we have come a long way since smoke signals. Such instant panics won't happen often – but they *will* happen.

Berkshire's ability to immediately respond to market seizures with both huge sums and certainty of performance *may* offer us an occasional large-scale opportunity. Though the stock market is massively larger than it was in our early years, today's *active* participants are neither more emotionally stable nor better taught than when I was in school. For whatever reasons, markets now exhibit far more casino-like behavior than they did when I was young. The casino now resides in many homes and daily tempts the occupants.

One fact of financial life should never be forgotten. Wall Street – to use the term in its figurative sense – would *like* its customers to make money, but what truly causes its denizens' juices to flow is feverish activity. At such times, whatever foolishness can be marketed *will* be vigorously marketed – not by everyone but always by someone.

Occasionally, the scene turns ugly. The politicians then become enraged; the most flagrant perpetrators of misdeeds slip away, rich and unpunished; and your friend next door becomes bewildered, poorer and sometimes vengeful. Money, he learns, has trumped morality.

One investment rule at Berkshire has not and will not change: *Never* risk permanent loss of capital. Thanks to the American tailwind and the power of compound interest, the arena in which we operate has been – and will be – rewarding *if* you make a couple of good decisions during a lifetime *and* avoid serious mistakes.

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I believe Berkshire can handle *financial* disasters of a magnitude beyond any heretofore experienced. This ability is one we will not relinquish. When economic upsets occur, as they will, Berkshire's goal will be to function as an *asset* to the country – just as it was in a very minor way in 2008-9 – and to help *extinguish* the financial fire rather than to be among the many companies that, inadvertently or otherwise, ignited the conflagration.

Our goal is realistic. Berkshire's strength comes from its Niagara of diverse earnings delivered *after* interest costs, taxes and substantial charges for depreciation and amortization ("EBITDA" is a banned measurement at Berkshire). We also operate with minimal requirements for cash, even if the country encounters a prolonged period of global economic weakness, fear and near-paralysis.

Berkshire does not currently pay dividends, and its share repurchases are 100% discretionary. Annual debt maturities are never material.

Your company also holds a *cash* and *U.S. Treasury bill* position far in excess of what conventional wisdom deems necessary. During the 2008 panic, Berkshire *generated* cash from operations and did not rely in any manner on commercial paper, bank lines or debt markets. We did *not* predict the time of an economic paralysis but we were always *prepared* for one.

Extreme fiscal conservatism is a corporate pledge we make to those who have joined us in ownership of Berkshire. In most years – indeed in most decades – our caution will likely prove to be unneeded behavior – akin to an insurance policy on a fortress-like building *thought* to be fireproof. But Berkshire does not want to inflict *permanent* financial damage – quotational shrinkage for extended periods can't be avoided – on Bertie or *any* of the individuals who have trusted us with their savings.

Berkshire is built to last.

Non-controlled Businesses That Leave Us Comfortable

Last year I mentioned two of Berkshire's long-duration partial-ownership positions – Coca-Cola and American Express. These are not huge commitments like our Apple position. Each only accounts for 4-5% of Berkshire's GAAP net worth. But they are meaningful assets and also illustrate our thought processes.

American Express began operations in 1850, and Coca-Cola was launched in an Atlanta drug store in 1886. (Berkshire is *not* big on newcomers.) Both companies tried expanding into unrelated areas over the years and both found little success in these attempts. In the past – but *definitely* not now – both were even mismanaged.

But each was hugely successful in its base business, reshaped here and there as conditions called for. And, crucially, their products "traveled." Both Coke and AMEX became recognizable names worldwide as did their core products, *and* the consumption of liquids and the need for unquestioned financial trust are timeless essentials of our world.

During 2023, we did not buy or sell a share of either AMEX or Coke – extending our own Rip Van Winkle slumber that has now lasted well over two decades. Both companies again rewarded our inaction last year by increasing their earnings and dividends. Indeed, our share of AMEX *earnings* in 2023 considerably exceeded the $1.3 billion *cost* of our long-ago purchase.

Both AMEX and Coke will almost certainly increase their dividends in 2024 – about 16% in the case of AMEX – and we *will* most certainly leave our holdings untouched throughout the year. Could *I* create a better worldwide business than these two enjoy? As Bertie will tell you: "No way."

Though Berkshire did not purchase shares of either company in 2023, *your* indirect ownership of both Coke and AMEX increased a bit last year because of share repurchases we made at Berkshire. Such repurchases work to increase your participation in *every* asset that Berkshire owns. To this obvious but often overlooked truth, I add my usual caveat: *All* stock repurchases should be price-dependent. What is sensible at a discount to business-value becomes stupid if done at a premium.

The lesson from Coke and AMEX? When you find a truly wonderful business, stick with it. *Patience* pays, and one wonderful business can offset the many mediocre decisions that are inevitable.

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This year, I would like to describe two other investments that we expect to maintain indefinitely. Like Coke and AMEX, these commitments are not huge relative to our resources. They are worthwhile, however, and we were able to increase both positions during 2023.

At yearend, Berkshire owned 27.8% of Occidental Petroleum's common shares and also owned warrants that, for more than five years, give us the *option* to materially increase our ownership at a fixed price. Though we very much like our ownership, as well as the option, Berkshire has no interest in purchasing or managing Occidental. We particularly like its vast oil and gas holdings in the United States, as well as its leadership in carbon-capture initiatives, though the economic feasibility of this technique has yet to be proven. Both of these activities are very much in our country's interest.

Not so long ago, the U.S. was woefully dependent on foreign oil, and carbon capture had no meaningful constituency. Indeed, in 1975, U.S. production was eight million barrels of oil-equivalent per day ("BOEPD"), a level far short of the country's needs. From the favorable energy position that facilitated the U.S. mobilization in World War II, the country had retreated to become heavily dependent on foreign – potentially unstable – suppliers. Further declines in oil production were predicted along with future increases in usage.

For a long time, the pessimism appeared to be correct, with production falling to five million BOEPD by 2007. Meanwhile, the U.S. government created a Strategic Petroleum Reserve ("SPR") in 1975 to alleviate – though not come close to eliminating – this erosion of American self-sufficiency.

And then – Hallelujah! – shale economics became feasible in 2011, and our energy dependency ended. Now, U.S. production is more than 13 million BOEPD, and OPEC no longer has the upper hand. Occidental itself has annual U.S. oil production that each year comes close to matching the entire inventory of the SPR. Our country would be very – *very* – nervous today if domestic production had remained at five million BOEPD, and it found itself hugely dependent on non-U.S. sources. At that level, the SPR would have been emptied within months if foreign oil became unavailable.

Under Vicki Hollub's leadership, Occidental is doing the right things for both its country *and* its owners. No one knows what oil prices will do over the next month, year, or decade. But Vicki does know how to separate oil from rock, and that's an uncommon talent, valuable to her shareholders and to her country.

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Additionally, Berkshire continues to hold its passive and long-term interest in five very large Japanese companies, each of which operates in a highly-diversified manner somewhat similar to the way Berkshire itself is run. We increased our holdings in all five last year after Greg Abel and I made a trip to Tokyo to talk with their managements.

Berkshire now owns about 9% of each of the five. (A minor point: Japanese companies calculate outstanding shares in a manner different from the practice in the U.S.) Berkshire has also pledged to each company that it will not purchase shares that will take our holdings beyond 9.9%. Our cost for the five totals ¥1.6 trillion, and the yearend market value of the five was ¥2.9 trillion. However, the yen has weakened in recent years and our yearend unrealized gain in dollars was 61% or $8 billion.

Neither Greg nor I believe we can forecast market prices of major currencies. We also don't believe we can hire anyone with this ability. Therefore, Berkshire has financed most of its Japanese position with the proceeds from ¥1.3 trillion of bonds. This debt has been very well-received in Japan, and I believe Berkshire has more yen-denominated debt outstanding than any other American company. The weakened yen has produced a yearend gain for Berkshire of $1.9 billion, a sum that, pursuant to GAAP rules, has periodically been recognized in income over the 2020-23 period.

In certain important ways, all five companies – Itochu, Marubeni, Mitsubishi, Mitsui and Sumitomo – follow shareholder-friendly policies that are much superior to those customarily practiced in the U.S. Since we began our Japanese purchases, *each* of the five has reduced the number of its outstanding shares *at attractive prices*.

Meanwhile, the managements of all five companies have been *far* less aggressive about their own compensation than is typical in the United States. Note as well that each of the five is applying only about ⅓ of its earnings to dividends. The large sums the five retain are used both to build their many businesses and, to a lesser degree, to repurchase shares. Like Berkshire, the five companies are reluctant to *issue* shares.

An additional benefit for Berkshire is the possibility that our investment may lead to opportunities for us to partner around the world with five large, well-managed and well-respected companies. Their interests are far more broad than ours. And, on their side, the Japanese CEOs have the comfort of knowing that Berkshire will always possess huge liquid resources that can be instantly available for such partnerships, whatever their size may be.

Our Japanese purchases began on July 4, 2019. Given Berkshire's present size, building positions through open-market purchases takes a lot of patience and an extended period of "friendly" prices. The process is like turning a battleship. That is an important disadvantage which we did not face in our early days at Berkshire.

The Scorecard in 2023

Every quarter we issue a press release that reports our summarized operating earnings (or loss) in a manner similar to what is shown below. Here is the full-year compilation:

	(in $ millions)	
	2023	2022
Insurance-underwriting	$ 5,428	$ (30)
Insurance-investment income	9,567	6,484
Railroad	5,087	5,946
Utilities and energy	2,331	3,904
Other businesses and miscellaneous items	14,937	14,549
Operating earnings	$37,350	$30,853

At Berkshire's annual gathering on May 6, 2023, I presented the first quarter's results which had been released early that morning. I followed with a short summary of the outlook for the full year: (1) most of our *non-insurance* businesses faced lower earnings in 2023; (2) that decline would be cushioned by decent results at our two largest non-insurance businesses, BNSF and Berkshire Hathaway Energy ("BHE") which, combined, had accounted for more than 30% of operating earnings in 2022; (3) our investment income was *certain* to materially grow because the huge U.S. Treasury bill position held by Berkshire had finally begun to pay us far more than the pittance we had been receiving and (4) insurance would likely do well, both because its underwriting earnings are not correlated to earnings elsewhere in the economy and, beyond that, property-casualty insurance prices had strengthened.

Insurance came through as expected. I erred, however, in my expectations for both BNSF and BHE. Let's take a look at each.

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Rail is essential to America's economic future. It is clearly the most efficient way – measured by cost, fuel usage and carbon intensity – of moving heavy materials to distant destinations. Trucking wins for short hauls, but many goods that Americans need *must* travel to customers many hundreds or even several thousands of miles away. The country can't run without rail, and the industry's capital needs will always be huge. Indeed, compared to most American businesses, railroads *eat* capital.

BNSF is the largest of six major rail systems that blanket North America. Our railroad carries its 23,759 miles of main track, 99 tunnels, 13,495 bridges, 7,521 locomotives and assorted other fixed assets at $70 billion on its balance sheet. But my guess is that it would cost at least $500 billion to replicate those assets and *decades* to complete the job.

BNSF must annually spend more than its depreciation charge to simply *maintain* its present level of business. This reality is bad for owners, whatever the industry in which they have invested, but it is particularly disadvantageous in capital-intensive industries.

At BNSF, the outlays in *excess* of GAAP depreciation charges since our purchase 14 years ago have totaled a staggering $22 billion or more than $1½ billion annually. Ouch! That sort of gap means BNSF dividends paid to Berkshire, its owner, will regularly fall *considerably short* of BNSF's reported earnings unless we regularly increase the railroad's debt. And that we do not intend to do.

Consequently, Berkshire is receiving an acceptable return on its purchase price, though less than it might appear, and also a pittance on the replacement value of the property. That's no surprise to me or Berkshire's board of directors. It explains why we could buy BNSF in 2010 at a small fraction of its replacement value.

North America's rail system moves huge quantities of coal, grain, autos, imported and exported goods, etc. *one-way* for long distances and those trips often create a revenue problem for back-hauls. Weather conditions are extreme and frequently hamper or even stymie the utilization of track, bridges and equipment. Flooding can be a nightmare. None of this is a surprise. While I sit in an always-comfortable office, railroading is an outdoor activity with many employees working under trying and sometimes dangerous conditions.

An evolving problem is that a growing percentage of Americans are not looking for the difficult, and often lonely, employment conditions inherent in some rail operations. Engineers must deal with the fact that among an American population of 335 million, some forlorn or mentally-disturbed Americans are going to elect suicide by lying in front of a 100-car, extraordinarily heavy train that can't be stopped in less than a mile or more. Would *you* like to be the helpless engineer? This trauma happens about once a day in North America; it is far more common in Europe and will always be with us.

Wage negotiations in the rail industry can end up in the hands of the President and Congress. Additionally, American railroads are *required* to carry many dangerous products every day that the industry would much rather avoid. The words "common carrier" define railroad responsibilities.

Last year BNSF's earnings declined more than I expected, as revenues fell. Though fuel costs also fell, wage increases, promulgated in Washington, were far beyond the country's inflation goals. This differential may recur in future negotiations.

Though BNSF carries more freight and spends more on capital expenditures than any of the five other major North American railroads, its profit margins have slipped relative to all five since our purchase. I believe that our vast service territory is second to none and that therefore our margin comparisons can and should improve.

I am particularly proud of both BNSF's contribution to the country and the people who work in sub-zero outdoor jobs in North Dakota and Montana winters to keep America's commercial arteries open. Railroads don't get much attention when they are working but, were they unavailable, the void would be noticed immediately throughout America.

A century from now, BNSF will continue to be a major asset of the country and of Berkshire. You can count on that.

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Our second and even more severe earnings disappointment last year occurred at BHE. *Most* of its large electric-utility businesses, as well as its extensive gas pipelines, performed about as expected. But the regulatory climate in a few states has raised the specter of zero profitability or even bankruptcy (an actual outcome at California's largest utility and a current threat in Hawaii). In such jurisdictions, it is difficult to project both earnings and asset values in what was once regarded as among the most stable industries in America.

For more than a century, electric utilities raised huge sums to finance their growth through a state-by-state promise of a fixed return on equity (sometimes with a small bonus for superior performance). With this approach, massive investments were made for capacity that would likely be required a few years down the road. That forward-looking regulation reflected the reality that utilities build generating and transmission assets that often take many years to construct. BHE's extensive multi-state transmission project in the West was initiated in 2006 and remains some years from completion. Eventually, it will serve 10 states comprising 30% of the acreage in the continental United States.

With this model employed by both private and public-power systems, the lights stayed on, even if population growth or industrial demand exceeded expectations. The "margin of safety" approach seemed sensible to regulators, investors and the public. Now, the fixed-but-satisfactory-return pact has been broken in a few states, and investors are becoming apprehensive that such ruptures may spread. Climate change adds to their worries. Underground transmission may be required but who, a few decades ago, wanted to pay the staggering costs for such construction?

At Berkshire, we have made a best estimate for the amount of losses that have occurred. These costs arose from forest fires, whose frequency and intensity have increased – and will likely continue to increase – if convective storms become more frequent.

It will be many years until we know the final tally from BHE's forest-fire losses and can intelligently make decisions about the desirability of future investments in vulnerable western states. It remains to be seen whether the regulatory environment will change elsewhere.

Other electric utilities may face survival problems resembling those of Pacific Gas and Electric and Hawaiian Electric. A confiscatory resolution of our present problems would obviously be a negative for BHE, but both that company and Berkshire itself are structured to survive negative surprises. We regularly get these in our insurance business, where our basic product is risk assumption, and they will occur elsewhere. Berkshire can sustain financial surprises but we will not *knowingly* throw good money after bad.

Whatever the case at Berkshire, the final result for the utility industry may be ominous: Certain utilities might no longer attract the savings of American citizens and will be forced to adopt the public-power model. Nebraska made this choice in the 1930s and there are many public-power operations throughout the country. Eventually, voters, taxpayers and users will decide which model they prefer.

When the dust settles, America's power needs and the consequent capital expenditure will be staggering. I did not anticipate or even consider the adverse developments in regulatory returns and, along with Berkshire's two partners at BHE, I made a costly mistake in not doing so.

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Enough about problems: Our insurance business performed exceptionally well last year, setting records in sales, float and underwriting profits. Property-casualty insurance ("P/C") provides the core of Berkshire's well-being and growth. We have been in the business for 57 years and despite our nearly *5,000-fold* increase in volume – from $17 million to $83 *billion* – we have much room to grow.

Beyond that, we have learned – too often, painfully – a good deal about what types of insurance business and what sort of people to *avoid*. The most important lesson is that our underwriters can be thin, fat, male, female, young, old, foreign or domestic. But they *can't* be optimists at the office, however desirable that quality may generally be in life.

Surprises in the P/C business – which can occur decades after six-month or one-year policies have expired – are almost always negative. The industry's accounting is designed to recognize this reality, but estimation mistakes can be huge. And when charlatans are involved, detection is often both slow and costly. Berkshire will always attempt to be accurate in its estimates of future loss payments but inflation – both monetary and the "legal" variety – is a wild card.

I've told the story of our insurance operations so many times that I will simply direct newcomers to page 18. Here, I will only repeat that our position would not be what it is if Ajit Jain had not joined Berkshire in 1986. Before that lucky day – aside from an almost unbelievably wonderful experience with GEICO that began early in 1951 and will never end – I was largely wandering in the wilderness, as I struggled to build our insurance operation.

Ajit's achievements since joining Berkshire have been supported by a large cast of hugely-talented insurance executives in our various P/C operations. Their names and faces are unknown to most of the press and the public. Berkshire's lineup of managers, however, is to P/C insurance what Cooperstown's honorees are to baseball.

Bertie, you can feel good about the fact that you own a piece of an incredible P/C operation that now operates worldwide with unmatched financial resources, reputation and talent. It carried the day in 2023.

What is it with Omaha?

Come to Berkshire's annual gathering on May 4, 2024. On stage you will see the three managers who now bear the prime responsibilities for steering your company. What, you may wonder, do the three have in common? They certainly don't look alike. Let's dig deeper.

Greg Abel, who runs all non-insurance operations for Berkshire – and in *all* respects is ready to be CEO of Berkshire tomorrow – was born and raised in Canada (he still plays hockey). In the 1990s, however, Greg lived for six years in Omaha just a few blocks away from me. During that period, I never met him.

A decade or so earlier, Ajit Jain, who was born, raised and educated in India, lived with his family in Omaha only a mile or so from my home (where I've lived since 1958). Both Ajit and his wife, Tinku, have many Omaha friends, though it's been more than three decades since they moved to New York (in order to be where much of the action in reinsurance takes place).

Missing from the stage this year will be Charlie. He and I were both born in Omaha about two miles from where you will sit at our May get-together. In his first ten years, Charlie lived about a half-mile from where Berkshire has long maintained its office. Both Charlie and I spent our early years in Omaha public schools and were indelibly shaped by our Omaha childhood. We didn't meet, however, until much later. (A footnote that may surprise you: Charlie lived under 15 of America's 45 presidents. People refer to President Biden as #46, but that numbering counts Grover Cleveland as both #22 and #24 because his terms were not consecutive. America is a very young country.)

Moving to the corporate level, Berkshire itself relocated in 1970 from its 81 years of residence in New England to settle in Omaha, leaving its troubles behind and blossoming in its new home.

As a final punctuation point to the "Omaha Effect," Bertie – yes *that* Bertie – spent her early formative years in a middle-class neighborhood in Omaha and, many decades later, emerged as one of the country's great investors.

You may be thinking that she put all of her money in Berkshire and then simply sat on it. But that's not true. After starting a family in 1956, Bertie was active financially for 20 years: holding bonds, putting ⅓ of her funds in a publicly-held mutual fund and trading stocks with some frequency. Her potential remained unnoticed.

Then, in 1980, when 46, and independent of any urgings from her brother, Bertie decided to make her move. Retaining only the mutual fund and Berkshire, she made *no* new trades during the next 43 years. During that period, she became very rich, even after making large philanthropic gifts (think nine figures).

Millions of American investors *could* have followed her reasoning which involved only the common sense she had somehow absorbed as a child in Omaha. And, taking no chances, Bertie returns to Omaha *every* May to be re-energized.

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So what is going on? Is it Omaha's water? Is it Omaha's air? Is it some strange planetary phenomenon akin to that which has produced Jamaica's sprinters, Kenya's marathon runners, or Russia's chess experts? Must we wait until AI someday yields the answer to this puzzle?

Keep an open mind. Come to Omaha in May, inhale the air, drink the water and say "hi" to Bertie and her good-looking daughters. Who knows? There is no downside, and, in any event, you will have a good time and meet a huge crowd of friendly people.

To top things off, we will have available the new 4th edition of Poor Charlie's Almanack. Pick up a copy. Charlie's wisdom will improve your life as it has mine.

February 24, 2024

Warren E. Buffett
Chairman of the Board

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Market Value of Berkshire	Annual Percentage Change in S&P 500 with Dividends Included
1965	49.5	10.0
1966	(3.4)	(11.7)
1967	13.3	30.9
1968	77.8	11.0
1969	19.4	(8.4)
1970	(4.6)	3.9
1971	80.5	14.6
1972	8.1	18.9
1973	(2.5)	(14.8)
1974	(48.7)	(26.4)
1975	2.5	37.2
1976	129.3	23.6
1977	46.8	(7.4)
1978	14.5	6.4
1979	102.5	18.2
1980	32.8	32.3
1981	31.8	(5.0)
1982	38.4	21.4
1983	69.0	22.4
1984	(2.7)	6.1
1985	93.7	31.6
1986	14.2	18.6
1987	4.6	5.1
1988	59.3	16.6
1989	84.6	31.7
1990	(23.1)	(3.1)
1991	35.6	30.5
1992	29.8	7.6
1993	38.9	10.1
1994	25.0	1.3
1995	57.4	37.6
1996	6.2	23.0
1997	34.9	33.4
1998	52.2	28.6
1999	(19.9)	21.0
2000	26.6	(9.1)
2001	6.5	(11.9)
2002	(3.8)	(22.1)
2003	15.8	28.7
2004	4.3	10.9
2005	0.8	4.9
2006	24.1	15.8
2007	28.7	5.5
2008	(31.8)	(37.0)
2009	2.7	26.5
2010	21.4	15.1
2011	(4.7)	2.1
2012	16.8	16.0
2013	32.7	32.4
2014	27.0	13.7
2015	(12.5)	1.4
2016	23.4	12.0
2017	21.9	21.8
2018	2.8	(4.4)
2019	11.0	31.5
2020	2.4	18.4
2021	29.6	28.7
2022	4.0	(18.1)
2023	15.8	26.3
Compounded Annual Gain – 1965-2023	19.8%	10.2%
Overall Gain – 1964-2023	4,384,748%	31,223%

Note: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

BERKSHIRE HATHAWAY INC.

To the Shareholders of Berkshire Hathaway Inc.:

This letter comes to you as part of Berkshire's annual *report*. As a public company, we are required to periodically tell you many specific facts and figures.

"Report," however, implies a greater responsibility. In addition to the mandated data, we believe we owe you additional commentary about what you own and how we think. Our goal is to communicate with you in a manner that we would wish you to use if our positions were reversed – that is, if you were Berkshire's CEO while I and my family were passive investors, trusting *you* with our savings.

This approach leads us to an annual recitation of both good and bad developments at the many businesses you indirectly own through your Berkshire shares. When discussing problems at specific subsidiaries, we do, however, try to follow the advice Tom Murphy gave to me 60 years ago: "praise by name, criticize by category."

Mistakes – Yes, We Make Them at Berkshire

Sometimes I've made mistakes in assessing the future economics of a business I've purchased for Berkshire – each a case of capital allocation gone wrong. That happens with both judgments about marketable equities – we view these as *partial* ownership of businesses – and the 100% acquisitions of companies.

At other times, I've made mistakes when assessing the abilities or fidelity of the managers Berkshire is hiring. The fidelity disappointments can hurt beyond their financial impact, a pain that can approach that of a failed marriage.

A decent batting average in personnel decisions is all that can be hoped for. The cardinal sin is delaying the correction of mistakes or what Charlie Munger called "thumb-sucking." Problems, he would tell me, cannot be wished away. They require action, however uncomfortable that may be.

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During the 2019-23 period, I have used the words "mistake" or "error" 16 times in my letters to you. Many other huge companies have *never* used either word over that span. Amazon, I should acknowledge, made some brutally candid observations in its 2021 letter. Elsewhere, it has generally been happy talk and pictures.

I have also been a director of large public companies at which "mistake" or "wrong" were forbidden words at board meetings or analyst calls. That taboo, implying managerial perfection, always made me nervous (though, at times, there could be legal issues that make limited discussion advisable. We live in a very litigious society.)

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At 94, it won't be long before Greg Abel replaces me as CEO and will be writing the annual letters. Greg shares the Berkshire creed that a "report" is what a Berkshire CEO annually owes to owners. And he also understands that if you start fooling your shareholders, you will soon believe your own baloney and be fooling yourself as well.

Pete Liegl – One of a Kind

Let me pause to tell you the remarkable story of Pete Liegl, a man unknown to most Berkshire shareholders but one who contributed many billions to their aggregate wealth. Pete died in November, still working at 80.

I first heard of Forest River – the Indiana company Pete founded and managed – on June 21, 2005. On that day I received a letter from an intermediary detailing relevant data about the company, a recreational vehicle ("RV") manufacturer. The writer said that Pete, the 100% owner of Forest River, specifically wanted to sell to Berkshire. He also told me the price that Pete expected to receive. I liked this no-nonsense approach.

I did some checking with RV dealers, liked what I learned and arranged a June 28th meeting in Omaha. Pete brought along his wife, Sharon, and daughter, Lisa. When we met, Pete assured me that he wanted to keep running the business but would feel more comfortable if he could assure financial security for his family.

Pete next mentioned that he owned some real estate that was leased to Forest River and had not been covered in the June 21 letter. Within a few minutes, we arrived at a price for those assets as I expressed no need for appraisal by Berkshire but would simply accept his valuation.

Then we arrived at the other point that needed clarity. I asked Pete what his compensation should be, adding that whatever he said, I would accept. (This, I should add, is *not* an approach I recommend for general use.)

Pete paused as his wife, daughter and I leaned forward. Then he surprised us: "Well, I looked at Berkshire's proxy statement and I wouldn't want to make more than my boss, so pay me $100,000 per year." After I picked myself off the floor, Pete added: "But we will earn X (he named a number) this year, and I would like an annual bonus of 10% of any earnings above what the company is now delivering." I replied: "OK Pete, but if Forest River makes any significant acquisitions we will make an appropriate adjustment for the additional capital thus employed." I didn't define "appropriate" or "significant," but those vague terms never caused a problem.

The four of us then went to dinner at Omaha's Happy Hollow Club and lived happily ever after. During the next 19 years, Pete shot the lights out. No competitor came close to his performance.

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Every company doesn't have an easy-to-understand business and there are *very* few owners or managers like Pete. And, of course, I expect to make my share of mistakes about the businesses Berkshire buys and sometimes err in evaluating the sort of person with whom I'm dealing.

But I've also had many pleasant surprises in both the potential of the business as well as the ability and fidelity of the manager. And our experience is that a *single* winning decision can make a breathtaking difference over time. (Think GEICO as a business decision, Ajit Jain as a managerial decision and my luck in finding Charlie Munger as a one-of-a-kind partner, personal advisor and steadfast friend.) Mistakes fade away; winners can forever blossom.

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One further point in our CEO selections: I never look at where a candidate has gone to school. Never!

Of course, there are great managers who attended the most famous schools. But there are plenty such as Pete who may have benefitted by attending a less prestigious institution or even by not bothering to finish school. Look at my friend, Bill Gates, who decided that it was far more important to get underway in an exploding industry that would change the world than it was to stick around for a parchment that he could hang on the wall. (Read his new book, *Source Code*.)

Not long ago, I met – by phone – Jessica Toonkel, whose step-grandfather, Ben Rosner, long ago ran a business for Charlie and me. Ben was a retailing genius and, in preparing for this report, I checked with Jessica to confirm Ben's schooling, which I remembered as limited. Jessica's reply: "Ben never went past 6th grade."

I was lucky enough to get an education at three fine universities. And I avidly believe in lifelong learning. I've observed, however, that a very large portion of business talent is innate with nature swamping nurture.

Pete Liegl was a natural.

Last Year's Performance

In 2024, Berkshire did better than I expected though 53% of our 189 operating businesses reported a *decline* in earnings. We were aided by a predictable large gain in investment income as Treasury Bill yields improved and we substantially increased our holdings of these highly-liquid short-term securities.

Our insurance business also delivered a major increase in earnings, led by the performance of GEICO. In five years, Todd Combs has reshaped GEICO in a major way, increasing efficiency and bringing underwriting practices up to date. GEICO was a long-held gem that needed major repolishing, and Todd has worked tirelessly in getting the job done. Though not yet complete, the 2024 improvement was spectacular.

In general, property-casualty ("P/C") insurance pricing strengthened during 2024, reflecting a major increase in damage from convective storms. Climate change may have been announcing its arrival. However, no "monster" event occurred during 2024. Someday, *any* day, a truly staggering insurance loss will occur – and there is no guarantee that there will be only one per annum.

The P/C business is so central to Berkshire that it warrants a further discussion that appears later in this letter.

Berkshire's railroad and utility operations, our two largest businesses outside of insurance, improved their aggregate earnings. Both, however, have much left to accomplish.

Late in the year we increased our ownership of the utility operation from about 92% to 100% at a cost of roughly $3.9 billion, of which $2.9 billion was paid in cash with a balance in Berkshire "B" shares.

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All told, we recorded *operating earnings* of $47.4 billion in 2024. We regularly – endlessly, some readers may groan – emphasize this measure rather than the GAAP-mandated earnings that are reported on page K-68.

Our measure *excludes* capital gains or losses on the stocks and bonds we own, whether realized or unrealized. Over time, we think it highly likely that gains will prevail – why else would we buy these securities? – though the year-by-year numbers will swing wildly and unpredictably. Our horizon for such commitments is almost always far longer than a single year. In many, our thinking involves decades. These long-termers are the purchases that sometimes make the cash register ring like church bells.

Here's a breakdown of the 2023-24 earnings as we see them. All calculations are *after* depreciation, amortization and income tax. EBITDA, a flawed favorite of Wall Street, is not for us.

	(in $ millions) 2024	2023
Insurance-underwriting	$ 9,020	$ 5,428
Insurance-investment income	13,670	9,567
BNSF	5,031	5,087
Berkshire Hathaway Energy	3,730	2,331
Other controlled businesses	13,072	13,362
Non-controlled businesses*	1,519	1,750
Other**	1,395	(175)
Operating earnings	$47,437	$37,350

* *Includes certain businesses in which Berkshire had between a 20% and 50% ownership such as Kraft Heinz, Occidental Petroleum and Berkadia.*

** *Includes foreign currency exchange gains of approximately $1.1 billion in 2024 and approximately $211 million in 2023 produced by our usage of non-U.S. dollar-denominated debt.*

Surprise, Surprise! An Important American Record is Smashed

Sixty years ago, present management took control of Berkshire. That move was a mistake – *my* mistake – and one that plagued us for *two decades*. Charlie, I should emphasize, spotted my obvious error immediately: Though the price I paid for Berkshire *looked* cheap, its business – a large northern textile operation – was headed for extinction.

The U.S. Treasury, of all places, had already received silent warnings of Berkshire's destiny. In 1965, the company did not pay a dime of income tax, an embarrassment that had generally prevailed at the company for *a decade*. That sort of economic behavior may be understandable for glamorous startups, but it's a blinking yellow light when it happens at a venerable pillar of American industry. Berkshire was headed for the ash can.

Fast forward 60 years and imagine the surprise at the Treasury when that same company – still operating under the name of Berkshire Hathaway – paid *far* more in corporate income tax than the U.S. government had *ever* received from *any* company – even the American tech titans that commanded market values in the *trillions*.

To be precise, Berkshire last year made four payments to the IRS that totaled $26.8 billion. That's about 5% of what *all* of corporate America paid. (In addition, we paid sizable amounts for income taxes to foreign governments and to 44 states.)

Note one crucial factor allowing this record-shattering payment: Berkshire shareholders during the same 1965-2024 period received only one cash dividend. On January 3, 1967, we disbursed our sole payment – $101,755 or 10¢ per A share. (I can't remember why I suggested this action to Berkshire's board of directors. Now it seems like a bad dream.)

For *sixty years*, Berkshire shareholders endorsed continuous reinvestment and that enabled the company to build its taxable income. Cash income-tax payments to the U.S. Treasury, miniscule in the first decade, now aggregate more than $101 *billion* . . . and counting.

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Huge numbers can be hard to visualize. Let me recast the $26.8 billion that we paid last year.

If Berkshire had sent the Treasury a $1 million check *every 20 minutes* throughout all of 2024 – visualize *366 days and nights* because 2024 was a leap year – we still would have owed the federal government a significant sum at yearend. Indeed, it would be well into January before the Treasury would tell us that we could take a short breather, get some sleep, and prepare for our 2025 tax payments.

Where Your Money Is

Berkshire's equity activity is ambidextrous. In one hand we own control of many businesses, holding at least 80% of the investee's shares. Generally, we own 100%. These 189 subsidiaries have similarities to marketable common stocks but are far from identical. The collection is worth many hundreds of billions and includes a few rare gems, many good-but-far-from-fabulous businesses and some laggards that have been disappointments. We own nothing that is a major drag, but we have a number that I should not have purchased.

In the *other* hand, we own a small percentage of a dozen or so very large and highly profitable businesses with household names such as Apple, American Express, Coca-Cola and Moody's. Many of these companies earn very high returns on the net tangible equity required for their operations. At yearend, our partial-ownership holdings were valued at $272 billion. Understandably, really outstanding businesses are *very* seldom offered in their entirety, but small fractions of these gems can be purchased Monday through Friday on Wall Street and, very occasionally, they sell at bargain prices.

We are impartial in our choice of equity vehicles, investing in either variety based upon where we can best deploy your (and my family's) savings. Often, nothing looks compelling; *very* infrequently we find ourselves knee-deep in opportunities. Greg has vividly shown his ability to act at such times as did Charlie.

With marketable equities, it is easier to change course when I make a mistake. Berkshire's present size, it should be underscored, *diminishe*s this valuable option. We can't come and go on a dime. Sometimes a year or more is required to establish or divest an investment. Additionally, with ownership of minority positions we can't change management if that action is needed or control what is done with capital flows if we are unhappy with the decisions being made.

With controlled companies, we can dictate these decisions, *but* we have far less flexibility in the disposition of mistakes. In reality, Berkshire almost never sells controlled businesses unless we face what we believe to be unending problems. An offset is that some business owners seek out Berkshire because of our steadfast behavior. Occasionally, that can be a decided plus for us.

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Despite what some commentators currently view as an extraordinary cash position at Berkshire, the great majority of your money remains in equities. That preference won't change. While our ownership in *marketable* equities moved downward last year from $354 billion to $272 billion, the value of our non-quoted controlled equities increased somewhat and remains *far* greater than the value of the *marketable* portfolio.

Berkshire shareholders can rest assured that we will forever deploy a substantial majority of their money in equities – mostly American equities although many of these will have international operations of significance. Berkshire will *never* prefer ownership of cash-equivalent assets over the ownership of good businesses, whether controlled or only partially owned.

Paper money can see its value evaporate if fiscal folly prevails. In some countries, this reckless practice has become habitual, and, in our country's short history, the U.S. has come close to the edge. Fixed-coupon bonds provide no protection against runaway currency.

Businesses, as well as individuals with desired talents, however, will usually find a way to cope with monetary instability as long as their goods or services are desired by the country's citizenry. So, too, with personal skills. Lacking such assets as athletic excellence, a wonderful voice, medical or legal skills or, for that matter, *any* special talents, I have had to rely on equities throughout my life. In effect, I have depended on the success of American businesses and I will continue to do so.

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One way or another, the sensible – better yet imaginative – deployment of savings by citizens is required to propel an ever-growing societal output of desired goods and services. This system is called capitalism. It has its faults and abuses – in certain respects more egregious now than ever – but it also can work wonders unmatched by other economic systems.

America is Exhibit A. Our country's progress over its mere 235 years of existence could not have been imagined by even the most optimistic colonists in 1789, when the Constitution was adopted and the country's energies were unleashed.

True, our country in its infancy sometimes borrowed abroad to supplement our own savings. But, concurrently, we needed many Americans to consistently save and then needed those savers or other Americans to wisely deploy the capital thus made available. If America had consumed all that it produced, the country would have been spinning its wheels.

The American process has *not* always been pretty – our country has forever had many scoundrels and promoters who seek to take advantage of those who mistakenly trust them with their savings. But even with such malfeasance – which remains in full force today – and also much deployment of capital that eventually floundered because of brutal competition or disruptive innovation, the savings of Americans has delivered a quantity and quality of output beyond the dreams of any colonist.

From a base of only four million people – and despite a brutal internal war early on, pitting one American against another – America changed the world in the blink of a celestial eye.

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In a *very* minor way, Berkshire shareholders have participated in the American miracle by foregoing dividends, thereby electing to reinvest rather than consume. Originally, this reinvestment was tiny, almost meaningless, but over time, it mushroomed, reflecting the mixture of a sustained culture of savings, combined with the magic of long-term compounding.

Berkshire's activities now impact all corners of our country. And we are not finished. Companies die for many reasons but, unlike the fate of humans, old age itself is not lethal. Berkshire today is far more youthful than it was in 1965.

However, as Charlie and I have always acknowledged, Berkshire would not have achieved its results in any locale except America whereas America would have been every bit the success it has been if Berkshire had never existed.

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So thank you, Uncle Sam. Someday your nieces and nephews at Berkshire hope to send you even larger payments than we did in 2024. Spend it wisely. Take care of the many who, for no fault of their own, get the short straws in life. They deserve better. And never forget that we need you to maintain a stable currency and that result *requires* both wisdom and vigilance on your part.

Property-Casualty Insurance

P/C insurance continues to be Berkshire's core business. The industry follows a financial model that is rare – very rare – among giant businesses.

Customarily, companies incur costs for labor, materials, inventories, plant and equipment, etc. *before* – or concurrently with – the sale of their products or services. Consequently, their CEOs have a good fix on knowing the *cost* of their product *before* they sell it. If the selling price is less than its cost, managers soon learn they have a problem. Hemorrhaging cash is hard to ignore.

When writing P/C insurance, we receive payment upfront and *much later* learn what our product has cost us – sometimes a moment of truth that is delayed as much as 30 or more years. (We are still making substantial payments on asbestos exposures that occurred 50 or more years ago.)

This mode of operations has the desirable effect of giving P/C insurers cash before they incur most expenses but carries with it the risk that the company can be losing money – sometimes mountains of money – before the CEO and directors realize what is happening.

Certain lines of insurance minimize this mismatch, such as crop insurance or hail damage in which losses are quickly reported, evaluated and paid. Other lines, however, can lead to executive and shareholder bliss as the company is going broke. Think coverages such as medical malpractice or product liability. In "long-tail" lines, a P/C insurer may report large but fictitious profits to its owners and regulators for many years – even decades. The accounting can be particularly dangerous if the CEO is an optimist or a crook. These possibilities are not fanciful: History reveals a large number of each species.

In recent decades, this "money-up-front, loss-payments-later" model has allowed Berkshire to invest large sums ("float") while generally delivering what we believe to be a small underwriting profit. We make estimates for "surprises" and, so far, these estimates have been sufficient.

We are not deterred by the dramatic and growing loss payments sustained by our activities. (As I write this, think wildfires.) It's our job to price to absorb these and unemotionally take our lumps when surprises develop. It's also our job to contest "runaway" verdicts, spurious litigation and outright fraudulent behavior.

Under Ajit, our insurance operation has blossomed from an obscure Omaha-based company into a world leader, renowned for both its taste for risk and its Gibraltar-like financial strength. Moreover, Greg, our directors and I all have a *very* large investment in Berkshire in relation to any compensation we receive. We do *not* use options or other one-sided forms of compensation; if *you* lose money, so do we. This approach encourages caution but does *not* ensure foresight.

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P/C insurance *growth* is dependent on increased economic risk. No risk – no need for insurance.

Think back only 135 years when the world had no autos, trucks or airplanes. Now there are 300 million vehicles in the U.S. alone, a massive fleet causing huge damage daily. Property damage arising from hurricanes, tornadoes and wildfires is massive, growing and increasingly unpredictable in their patterns and eventual costs.

It would be foolish – make that madness – to write ten-year policies for these coverages, but we believe one-year assumption of such risks is generally manageable. If we change our minds, we will change the contracts we offer. During my lifetime, auto insurers have generally abandoned one-year policies and switched to the six-month variety. This change *reduced* float but allowed more intelligent underwriting.

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No private insurer has the willingness to take on the amount of risk that Berkshire can provide. At times, this advantage can be important. But we also need to *shrink* when prices are inadequate. We must *never* write inadequately-priced policies in order to stay in the game. That policy is corporate suicide.

Properly pricing P/C insurance is part art, part science and is definitely not a business for optimists. Mike Goldberg, the Berkshire executive who recruited Ajit, said it best: "We want our underwriters to daily come to work nervous, but not paralyzed."

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All things considered, we like the P/C insurance business. Berkshire can financially and psychologically handle extreme losses without blinking. We are also not dependent on reinsurers and that gives us a material and enduring cost advantage. Finally, we have outstanding managers (*no* optimists) and are particularly well-situated to utilize the substantial sums P/C insurance delivers for investment.

Over the past two decades, our insurance business has generated $32 billion of after-tax profits from underwriting, about 3.3 cents per dollar of sales after income tax. Meanwhile, our float has grown from $46 billion to $171 billion. The float is likely to grow a bit over time and, with intelligent underwriting (and some luck), has a reasonable prospect of being costless.

Berkshire Increases its Japanese Investments

A small but important exception to our U.S.-based focus is our growing investment in Japan.

It's been almost six years since Berkshire began purchasing shares in five Japanese companies that very successfully operate in a manner somewhat similar to Berkshire itself. The five are (alphabetically) ITOCHU, Marubeni, Mitsubishi, Mitsui and Sumitomo. Each of these large enterprises, in turn, owns interests in a vast array of businesses, many based in Japan but others that operate throughout the world.

Berkshire made its first purchases involving the five in July 2019. We simply looked at their financial records and were amazed at the low prices of their stocks. As the years have passed, our admiration for these companies has consistently grown. Greg has met many times with them, and I regularly follow their progress. Both of us like their capital deployment, their managements and their attitude in respect to their investors.

Each of the five companies increase dividends when appropriate, they repurchase their shares when it is sensible to do so, and their top managers are far less aggressive in their compensation programs than their U.S. counterparts.

Our holdings of the five are for the very long term, and we are *committed* to supporting their boards of directors. From the start, we also agreed to keep Berkshire's holdings below 10% of each company's shares. But, as we approached this limit, the five companies agreed to moderately relax the ceiling. *Over time*, you will likely see Berkshire's ownership of all five increase somewhat.

At yearend, Berkshire's aggregate cost (in dollars) was $13.8 billion and the market value of our holdings totaled $23.5 billion.

Meanwhile, Berkshire has consistently – but *not* pursuant to any formula – increased its yen-denominated borrowings. All are at fixed rates, no "floaters." Greg and I have *no* view on future foreign exchange rates and therefore seek a position approximating currency-neutrality. We are required, however, under GAAP rules to regularly recognize in our earnings a calculation of any gains or losses in the yen we have borrowed and, at yearend, had included $2.3 billion of after-tax gains due to dollar strength of which $850 million occurred in 2024.

I expect that Greg and his eventual successors will be holding this Japanese position for many decades and that Berkshire will find other ways to work productively with the five companies in the future.

We like the current math of our yen-balanced strategy as well. As I write this, the annual dividend income expected from the Japanese investments in 2025 will total about $812 million and the interest cost of our yen-denominated debt will be about $135 million.

The Annual Gathering in Omaha

I hope you will join us in Omaha on May 3rd. We are following a somewhat changed schedule this year, but the basics remain the same. Our goal is that you get many of your questions answered, that you connect with friends, and that you leave with a good impression of Omaha. The city looks forward to your visits.

We will have much the same group of volunteers to offer you a wide variety of Berkshire products that will lighten your wallet and brighten your day. As usual, we will be open on Friday from noon until 5 p.m. with lovable Squishmallows, underwear from Fruit of the Loom, Brooks running shoes and a host of other items to tempt you.

Again, we will have only one book for sale. Last year we featured *Poor Charlie's Almanack* and sold out – 5,000 copies disappeared before the close of business on Saturday.

This year we will offer *60 Years of Berkshire Hathaway*. In 2015, I asked Carrie Sova, who among her many duties managed much of the activity at the annual meeting, to try her hand at putting together a light-hearted history of Berkshire. I gave her full reign to use her imagination, and she quickly produced a book that blew me away with its ingenuity, contents and design.

Subsequently, Carrie left Berkshire to raise a family and now has three children. But each summer, the Berkshire office force gets together to watch the Omaha Storm Chasers play baseball against a Triple A opponent. I ask a few alums to join us, and Carrie usually comes with her family. At this year's event, I brazenly asked her if she would do a 60th Anniversary issue, featuring Charlie's photos, quotes and stories that have seldom been made public.

Even with three young children to manage, Carrie immediately said "yes." Consequently, we will have 5,000 copies of the new book available for sale on Friday afternoon and from 7 a.m. to 4 p.m. on Saturday.

Carrie refused any payment for her extensive work on the new "Charlie" edition. I suggested she and I co-sign 20 copies to be given to any shareholder contributing $5,000 to the Stephen Center that serves homeless adults and children in South Omaha. The Kizer family, beginning with Bill Kizer, Sr., my long-time friend and Carrie's grandfather, have for decades been assisting this worthy institution. Whatever is raised through the sale of the 20 autographed books, I will match.

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Becky Quick will cover our somewhat re-engineered gathering on Saturday. Becky knows Berkshire like a book and always arranges interesting interviews with managers, investors, shareholders and an occasional celebrity. She and her CNBC crew do a great job of both transmitting our meetings worldwide and archiving much Berkshire-related material. Give our director, Steve Burke, credit for the archive idea.

We will not have a movie this year but rather will convene a bit earlier at 8 a.m. I will make a few introductory remarks, and we will promptly get to the Q&A, alternating questions between Becky and the audience.

Greg and Ajit will join me in answering questions and we will take a half-hour break at 10:30 a.m. When we reconvene at 11:00 a.m., only Greg will join me on stage. This year we will disband at 1:00 p.m. but stay open for shopping in the exhibit area until 4:00 p.m.

You can find the full details regarding weekend activities on page 16. Note particularly the always-popular Brooks run on Sunday morning. (I will be sleeping.)

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My wise and good-looking sister, Bertie, of whom I wrote last year, will be attending the meeting along with two of her daughters, both good-looking as well. Observers all agree that the genes producing this dazzling result flow down *only* the female side of the family. (Sob.)

Bertie is now 91 and we talk regularly on Sundays using old-fashion telephones for communications. We cover the joys of old age and discuss such exciting topics as the relative merits of our canes. In my case, the utility is limited to the avoidance of falling flat on my face.

But Bertie regularly one-ups me by asserting that she enjoys an additional benefit: When a woman uses a cane, she tells me, men quit "hitting" on her. Bertie's explanation is that the male ego is such that little old ladies with canes simply aren't an appropriate target. Presently, I have no data to counter her assertion.

But I have suspicions. At the meeting I can't see much from the stage, and I would appreciate it if attendees would keep an eye on Bertie. Let me know if the cane is really doing its job. My bet is that she will be *surrounded* by males. For those of a certain age, the scene will bring back memories of Scarlett O'Hara and her horde of male admirers in *Gone with the Wind*.

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The Berkshire directors and I immensely enjoy having you come to Omaha, and I predict that you will have a good time and likely make some new friends.

February 22, 2025

Warren E. Buffett
Chairman of the Board

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Market Value of Berkshire	Annual Percentage Change in S&P 500 with Dividends Included
1965	49.5%	10.0%
1966	(3.4)	(11.7)
1967	13.3	30.9
1968	77.8	11.0
1969	19.4	(8.4)
1970	(4.6)	3.9
1971	80.5	14.6
1972	8.1	18.9
1973	(2.5)	(14.8)
1974	(48.7)	(26.4)
1975	2.5	37.2
1976	129.3	23.6
1977	46.8	(7.4)
1978	14.5	6.4
1979	102.5	18.2
1980	32.8	32.3
1981	31.8	(5.0)
1982	38.4	21.4
1983	69.0	22.4
1984	(2.7)	6.1
1985	93.7	31.6
1986	14.2	18.6
1987	4.6	5.1
1988	59.3	16.6
1989	84.6	31.7
1990	(23.1)	(3.1)
1991	35.6	30.5
1992	29.8	7.6
1993	38.9	10.1
1994	25.0	1.3

Note: Data are for calendar years with these exceptions: 1965 and 1966, year ended 9/30; 1967, 15 months ended 12/31.

Berkshire's Performance vs. the S&P 500

Year	Annual Percentage Change in Per-Share Market Value of Berkshire	Annual Percentage Change in S&P 500 with Dividends Included
1995	57.4%	37.6%
1996	6.2	23.0
1997	34.9	33.4
1998	52.2	28.6
1999	(19.9)	21.0
2000	26.6	(9.1)
2001	6.5	(11.9)
2002	(3.8)	(22.1)
2003	15.8	28.7
2004	4.3	10.9
2005	0.8	4.9
2006	24.1	15.8
2007	28.7	5.5
2008	(31.8)	(37.0)
2009	2.7	26.5
2010	21.4	15.1
2011	(4.7)	2.1
2012	16.8	16.0
2013	32.7	32.4
2014	27.0	13.7
2015	(12.5)	1.4
2016	23.4	12.0
2017	21.9	21.8
2018	2.8	(4.4)
2019	11.0	31.5
2020	2.4	18.4
2021	29.6	28.7
2022	4.0	(18.1)
2023	15.8	26.3
2024	25.5	25.0
Compounded Annual Gain – 1965-2024	19.9%	10.4%
Overall Gain – 1964-2024	5,502,284%	39,054%

Berkshire – Past, Present and Future

In the Beginning

On May 6, 1964, Berkshire Hathaway, then run by a man named Seabury Stanton, sent a letter to its shareholders offering to buy 225,000 shares of its stock for $11.375 per share. I had expected the letter; I was surprised by the price.

Berkshire then had 1,583,680 shares outstanding. About 7% of these were owned by Buffett Partnership Ltd. ("BPL"), an investing entity that I managed and in which I had virtually all of my net worth. Shortly before the tender offer was mailed, Stanton had asked me at what price BPL would sell its holdings. I answered $11.50, and he said, "Fine, we have a deal." Then came Berkshire's letter, offering an eighth of a point less. I bristled at Stanton's behavior and didn't tender.

That was a monumentally stupid decision.

Berkshire was then a northern textile manufacturer mired in a terrible business. The industry in which it operated was heading south, both metaphorically and physically. And Berkshire, for a variety of reasons, was unable to change course.

That was true even though the industry's problems had long been widely understood. Berkshire's own Board minutes of July 29, 1954, laid out the grim facts: "The textile industry in New England started going out of business forty years ago. During the war years this trend was stopped. The trend must continue until supply and demand have been balanced."

About a year after that board meeting, Berkshire Fine Spinning Associates and Hathaway Manufacturing – both with roots in the 19th Century – joined forces, taking the name we bear today. With its fourteen plants and 10,000 employees, the merged company became the giant of New England textiles. What the two managements viewed as a merger agreement, however, soon morphed into a suicide pact. During the seven years following the consolidation, Berkshire operated at an overall loss, and its net worth shrunk by 37%.

Meanwhile, the company closed nine plants, sometimes using the liquidation proceeds to repurchase shares. And that pattern caught my attention.

I purchased BPL's first shares of Berkshire in December 1962, anticipating more closings and more repurchases. The stock was then selling for $7.50, a wide discount from per-share working capital of $10.25 and book value of $20.20. Buying the stock at that price was like picking up a discarded cigar butt that had one puff remaining in it. Though the stub might be ugly and soggy, the puff would be free. Once that momentary pleasure was enjoyed, however, no more could be expected.

Berkshire thereafter stuck to the script: It soon closed another two plants, and in that May 1964 move, set out to repurchase shares with the shutdown proceeds. The price that Stanton offered was 50% above the cost of our original purchases. There it was – my free puff, just waiting for me, after which I could look elsewhere for other discarded butts.

Instead, irritated by Stanton's chiseling, I ignored his offer and began to aggressively buy more Berkshire shares.

By April 1965, BPL owned 392,633 shares (out of 1,017,547 then outstanding) and at an early-May board meeting we formally took control of the company. Through Seabury's and my childish behavior – after all, what was an eighth of a point to either of us? – he lost his job, and I found myself with more than 25% of BPL's capital invested in a terrible business about which I knew very little. I became the dog who caught the car.

Because of Berkshire's operating losses and share repurchases, its net worth at the end of fiscal 1964 had fallen to $22 million from $55 million at the time of the 1955 merger. The full $22 million was required by the textile operation: The company had no excess cash and owed its bank $2.5 million. (Berkshire's 1964 annual report is reproduced on pages 130-142.)

For a time I got lucky: Berkshire immediately enjoyed two years of good operating conditions. Better yet, its earnings in those years were free of income tax because it possessed a large loss carry-forward that had arisen from the disastrous results in earlier years.

Then the honeymoon ended. During the 18 years following 1966, we struggled unremittingly with the textile business, all to no avail. But stubbornness – stupidity? – has its limits. In 1985, I finally threw in the towel and closed the operation.

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Undeterred by my first mistake of committing much of BPL's resources to a dying business, I quickly compounded the error. Indeed, my second blunder was far more serious than the first, eventually becoming the most costly in my career.

Early in 1967, I had Berkshire pay $8.6 million to buy National Indemnity Company ("NICO"), a small but promising Omaha-based insurer. (A tiny sister company was also included in the deal.) Insurance was in my sweet spot: I understood and liked the industry.

Jack Ringwalt, the owner of NICO, was a long-time friend who wanted to sell to me – me, personally. In no way was his offer intended for Berkshire. So why did I purchase NICO for Berkshire rather than for BPL? I've had 48 years to think about that question, and I've yet to come up with a good answer. I simply made a colossal mistake.

If BPL had been the purchaser, my partners and I would have owned 100% of a fine business, destined to form the base for building the company Berkshire has become. Moreover, our growth would not have been impeded for nearly two decades by the unproductive funds imprisoned in the textile operation. Finally, our subsequent acquisitions would have been owned in their entirety by my partners and me rather than being 39%-owned by the legacy shareholders of Berkshire, to whom we had no obligation. Despite these facts staring me in the face, I opted to marry 100% of an excellent business (NICO) to a 61%-owned terrible business (Berkshire Hathaway), a decision that eventually diverted $100 billion or so from BPL partners to a collection of strangers.

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One more confession and then I'll go on to more pleasant topics: Can you believe that in 1975 I bought Waumbec Mills, another New England textile company? Of course, the purchase price was a "bargain" based on the assets we received and the *projected* synergies with Berkshire's existing textile business. Nevertheless – surprise, surprise – Waumbec was a disaster, with the mill having to be closed down not many years later.

And now some good news: The northern textile industry is finally extinct. You need no longer panic if you hear that I've been spotted wandering around New England.

Charlie Straightens Me Out

My cigar-butt strategy worked very well while I was managing small sums. Indeed, the many dozens of free puffs I obtained in the 1950s made that decade by far the best of my life for both relative and absolute investment performance.

Even then, however, I made a few exceptions to cigar butts, the most important being GEICO. Thanks to a 1951 conversation I had with Lorimer Davidson, a wonderful man who later became CEO of the company, I learned that GEICO was a terrific business and promptly put 65% of my $9,800 net worth into its shares. Most of my gains in those early years, though, came from investments in mediocre companies that traded at bargain prices. Ben Graham had taught me that technique, and it worked.

But a major weakness in this approach gradually became apparent: Cigar-butt investing was scalable only to a point. With large sums, it would never work well.

In addition, though marginal businesses purchased at cheap prices may be attractive as short-term investments, they are the wrong foundation on which to build a large and enduring enterprise. Selecting a marriage partner clearly requires more demanding criteria than does dating. (Berkshire, it should be noted, would have been a highly satisfactory "date": If we had taken Seabury Stanton's $11.375 offer for our shares, BPL's weighted annual return on its Berkshire investment would have been about 40%.)

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It took Charlie Munger to break my cigar-butt habits and set the course for building a business that could combine huge size with satisfactory profits. Charlie had grown up a few hundred feet from where I now live and as a youth had worked, as did I, in my grandfather's grocery store. Nevertheless, it was 1959 before I met Charlie, long after he had left Omaha to make Los Angeles his home. I was then 28 and he was 35. The Omaha doctor who introduced us predicted that we would hit it off – and we did.

If you've attended our annual meetings, you know Charlie has a wide-ranging brilliance, a prodigious memory, and some firm opinions. I'm not exactly wishy-washy myself, and we sometimes don't agree. In 56 years, however, we've never had an argument. When we differ, Charlie usually ends the conversation by saying: "Warren, think it over and you'll agree with me because you're smart and I'm right."

What most of you do *not* know about Charlie is that architecture is among his passions. Though he began his career as a practicing lawyer (with his time billed at $15 per hour), Charlie made his first real money in his 30s by designing and building five apartment projects near Los Angeles. Concurrently, he designed the house that he lives in today – some 55 years later. (Like me, Charlie can't be budged if he is happy in his surroundings.) In recent years, Charlie has designed large dorm complexes at Stanford and the University of Michigan and today, at age 91, is working on another major project.

From my perspective, though, Charlie's most important architectural feat was the design of today's Berkshire. The blueprint he gave me was simple: Forget what you know about buying fair businesses at wonderful prices; instead, buy wonderful businesses at fair prices.

Altering my behavior is not an easy task (ask my family). I had enjoyed reasonable success without Charlie's input, so why should I listen to a lawyer who had never spent a day in business school (when – ahem – *I* had attended *three*). But Charlie never tired of repeating his maxims about business and investing to me, and his logic was irrefutable. Consequently, Berkshire has been built to Charlie's blueprint. My role has been that of general contractor, with the CEOs of Berkshire's subsidiaries doing the real work as sub-contractors.

The year 1972 was a turning point for Berkshire (though not without occasional backsliding on my part – remember my 1975 purchase of Waumbec). We had the opportunity then to buy See's Candy for Blue Chip Stamps, a company in which Charlie, I and Berkshire had major stakes, and which was later merged into Berkshire.

See's was a legendary West Coast manufacturer and retailer of boxed chocolates, then annually earning about $4 million pre-tax while utilizing only $8 million of net tangible assets. Moreover, the company had a huge asset that did not appear on its balance sheet: a broad and durable competitive advantage that gave it significant pricing power. That strength was virtually certain to give See's major gains in earnings over time. Better yet, these would materialize with only minor amounts of incremental investment. In other words, See's could be expected to gush cash for decades to come.

The family controlling See's wanted $30 million for the business, and Charlie rightly said it was worth that much. But I didn't want to pay more than $25 million and wasn't all that enthusiastic even at that figure. (A price that was three times net tangible assets made me gulp.) My misguided caution could have scuttled a terrific purchase. But, luckily, the sellers decided to take our $25 million bid.

To date, See's has earned $1.9 billion pre-tax, with its growth having required added investment of only $40 million. See's has thus been able to distribute huge sums that have helped Berkshire buy other businesses that, in turn, have themselves produced large distributable profits. (Envision rabbits breeding.) Additionally, through watching See's in action, I gained a business education about the value of powerful brands that opened my eyes to many other profitable investments.

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Even with Charlie's blueprint, I have made plenty of mistakes since Waumbec. The most gruesome was Dexter Shoe. When we purchased the company in 1993, it had a terrific record and in no way looked to me like a cigar butt. Its competitive strengths, however, were soon to evaporate because of foreign competition. And I simply didn't see that coming.

Consequently, Berkshire paid $433 million for Dexter and, rather promptly, its value went to zero. GAAP accounting, however, doesn't come close to recording the magnitude of my error. The fact is that I gave Berkshire stock to the sellers of Dexter rather than cash, and the shares I used for the purchase are now worth about $5.7 billion. As a financial disaster, this one deserves a spot in the Guinness Book of World Records.

Several of my subsequent errors also involved the use of Berkshire shares to purchase businesses whose earnings were destined to simply limp along. Mistakes of that kind are deadly. Trading shares of a wonderful business – which Berkshire most certainly is – for ownership of a so-so business irreparably destroys value.

We've also suffered financially when this mistake has been committed by companies whose shares Berkshire has owned (with the errors sometimes occurring while I was serving as a director). Too often CEOs seem blind to an elementary reality: The intrinsic value of the shares you give in an acquisition must not be greater than the intrinsic value of the business you receive.

I've yet to see an investment banker quantify this all-important math when he is presenting a stock-for-stock deal to the board of a potential acquirer. Instead, the banker's focus will be on describing "customary" premiums-to-market-price that are currently being paid for acquisitions – an absolutely asinine way to evaluate the attractiveness of an acquisition – or whether the deal will increase the acquirer's earnings-per-share (which in itself should be far from determinative). In striving to achieve the desired per-share number, a panting CEO and his "helpers" will often conjure up fanciful "synergies." (As a director of 19 companies over the years, I've never heard "dis-synergies" mentioned, though I've witnessed plenty of these once deals have closed.) Post mortems of acquisitions, in which reality is honestly compared to the original projections, are rare in American boardrooms. They should instead be standard practice.

I can promise you that long after I'm gone, Berkshire's CEO and Board will carefully make intrinsic value calculations before issuing shares in any acquisitions. You can't get rich trading a hundred-dollar bill for eight tens (even if your advisor has handed you an expensive "fairness" opinion endorsing that swap).

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Overall, Berkshire's acquisitions have worked out well – and *very* well in the case of a few large ones. So, too, have our investments in marketable securities. The latter are always valued on our balance sheet at their market prices so any gains – including those unrealized – are immediately reflected in our net worth. But the businesses we buy outright are never revalued upward on our balance sheet, even when we could sell them for many billions of dollars more than their carrying value. The unrecorded gains in the value of Berkshire's subsidiaries have become huge, with these growing at a particularly fast pace in the last decade.

Listening to Charlie has paid off.

Berkshire Today

Berkshire is now a sprawling conglomerate, constantly trying to sprawl further.

Conglomerates, it should be acknowledged, have a terrible reputation with investors. And they richly deserve it. Let me first explain why they are in the doghouse, and then I will go on to describe why the conglomerate form brings huge and enduring advantages to Berkshire.

Since I entered the business world, conglomerates have enjoyed several periods of extreme popularity, the silliest of which occurred in the late 1960s. The drill for conglomerate CEOs then was simple: By personality, promotion or dubious accounting – and often by all three – these managers drove a fledgling conglomerate's stock to, say, 20 times earnings and then issued shares as fast as possible to acquire another business selling at ten-or-so times earnings. They immediately applied "pooling" accounting to the acquisition, which – with not a dime's worth of change in the underlying businesses – automatically increased per-share earnings, and used the rise as proof of managerial genius. They next explained to investors that this sort of talent justified the maintenance, or even the enhancement, of the acquirer's p/e multiple. And, finally, they promised to endlessly repeat this procedure and thereby create ever-increasing per-share earnings.

Wall Street's love affair with this hocus-pocus intensified as the 1960s rolled by. The Street's denizens are always ready to suspend disbelief when dubious maneuvers are used to manufacture rising per-share earnings, particularly if these acrobatics produce mergers that generate huge fees for investment bankers. Auditors willingly sprinkled their holy water on the conglomerates' accounting and sometimes even made suggestions as to how to further juice the numbers. For many, gushers of easy money washed away ethical sensitivities.

Since the per-share earnings gains of an expanding conglomerate came from exploiting p/e differences, its CEO had to search for businesses selling at low multiples of earnings. These, of course, were characteristically mediocre businesses with poor long-term prospects. This incentive to bottom-fish usually led to a conglomerate's collection of underlying businesses becoming more and more junky. That mattered little to investors: It was deal velocity and pooling accounting they looked to for increased earnings.

The resulting firestorm of merger activity was fanned by an adoring press. Companies such as ITT, Litton Industries, Gulf & Western, and LTV were lionized, and their CEOs became celebrities. (These once-famous conglomerates are now long gone. As Yogi Berra said, "Every Napoleon meets his Watergate.")

Back then, accounting shenanigans of all sorts – many of them ridiculously transparent – were excused or overlooked. Indeed, having an accounting wizard at the helm of an expanding conglomerate was viewed as a huge plus: Shareholders in those instances could be sure that *reported* earnings would never disappoint, no matter how bad the operating realities of the business might become.

In the late 1960s, I attended a meeting at which an acquisitive CEO bragged of his "bold, imaginative accounting." Most of the analysts listening responded with approving nods, seeing themselves as having found a manager whose forecasts were certain to be met, whatever the business results might be.

Eventually, however, the clock struck twelve, and everything turned to pumpkins and mice. Once again, it became evident that business models based on the serial issuances of overpriced shares – just like chain-letter models – most assuredly redistribute wealth, but in no way create it. Both phenomena, nevertheless, periodically blossom in our country – they are every promoter's dream – though often they appear in a carefully-crafted disguise. The ending is always the same: Money flows from the gullible to the fraudster. And with stocks, unlike chain letters, the sums hijacked can be staggering.

At both BPL and Berkshire, we have *never* invested in companies that are hell-bent on issuing shares. That behavior is one of the surest indicators of a promotion-minded management, weak accounting, a stock that is overpriced and – all too often – outright dishonesty.

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So what do Charlie and I find so attractive about Berkshire's conglomerate structure? To put the case simply: If the conglomerate form is used judiciously, it is an ideal structure for maximizing long-term capital growth.

One of the heralded virtues of capitalism is that it efficiently allocates funds. The argument is that markets will direct investment to promising businesses and deny it to those destined to wither. That is true: With all its excesses, market-driven allocation of capital is usually far superior to any alternative.

Nevertheless, there are often obstacles to the rational movement of capital. As those 1954 Berkshire minutes made clear, capital withdrawals within the textile industry that should have been obvious were delayed for decades because of the vain hopes and self-interest of managements. Indeed, I myself delayed abandoning our obsolete textile mills for far too long.

A CEO with capital employed in a declining operation seldom elects to massively redeploy that capital into unrelated activities. A move of that kind would usually require that long-time associates be fired and mistakes be admitted. Moreover, it's unlikely *that* CEO would be the manager you would wish to handle the redeployment job even if he or she was inclined to undertake it.

At the shareholder level, taxes and frictional costs weigh heavily on individual investors when they attempt to reallocate capital among businesses and industries. Even tax-free institutional investors face major costs as they move capital because they usually need intermediaries to do this job. A lot of mouths with expensive tastes then clamor to be fed – among them investment bankers, accountants, consultants, lawyers and such capital-reallocators as leveraged buyout operators. Money-shufflers don't come cheap.

In contrast, a conglomerate such as Berkshire is perfectly positioned to allocate capital rationally and at minimal cost. Of course, form itself is no guarantee of success: We have made plenty of mistakes, and we will make more. Our structural advantages, however, are formidable.

At Berkshire, we can – without incurring taxes or much in the way of other costs – move huge sums from businesses that have limited opportunities for incremental investment to other sectors with greater promise. Moreover, we are free of historical biases created by lifelong association with a given industry and are not subject to pressures from colleagues having a vested interest in maintaining the status quo. That's important: If horses had controlled investment decisions, there would have been no auto industry.

Another major advantage we possess is the ability to buy *pieces* of wonderful businesses – a.k.a. common stocks. That's not a course of action open to most managements. Over our history, this strategic alternative has proved to be very helpful; a broad range of options always sharpens decision-making. The businesses we are offered by the stock market every day – in small pieces, to be sure – are often far more attractive than the businesses we are concurrently being offered in their entirety. Additionally, the gains we've realized from marketable securities have helped us make certain large acquisitions that would otherwise have been beyond our financial capabilities.

In effect, the world is Berkshire's oyster – a world offering us a range of opportunities far beyond those realistically open to most companies. We are limited, of course, to businesses whose economic prospects we can evaluate. And that's a serious limitation: Charlie and I have no idea what a great many companies will look like ten years from now. But that limitation is much smaller than that borne by an executive whose experience has been confined to a single industry. On top of that, we can profitably scale to a *far* larger size than the many businesses that are constrained by the limited potential of the single industry in which they operate.

I mentioned earlier that See's Candy had produced huge earnings compared to its modest capital requirements. We would have loved, of course, to intelligently use those funds to expand our candy operation. But our many attempts to do so were largely futile. So, without incurring tax inefficiencies or frictional costs, we have used the excess funds generated by See's to help purchase other businesses. If See's had remained a stand-alone company, its earnings would have had to be distributed to investors to redeploy, sometimes after being heavily depleted by large taxes and, almost always, by significant frictional and agency costs.

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Berkshire has one further advantage that has become increasingly important over the years: We are now the home of choice for the owners and managers of many outstanding businesses.

Families that own successful businesses have multiple options when they contemplate sale. Frequently, the best decision is to do nothing. There are worse things in life than having a prosperous business that one understands well. But sitting tight is seldom recommended by Wall Street. (Don't ask the barber whether you need a haircut.)

When one part of a family wishes to sell while others wish to continue, a public offering often makes sense. But, when owners wish to cash out entirely, they usually consider one of two paths.

The first is sale to a competitor who is salivating at the possibility of wringing "synergies" from the combining of the two companies. This buyer invariably contemplates getting rid of large numbers of the seller's associates, the very people who have helped the owner build his business. A caring owner, however – and there are plenty of them – usually does not want to leave his long-time associates sadly singing the old country song: "*She got the goldmine, I got the shaft.*"

The second choice for sellers is the Wall Street buyer. For some years, these purchasers accurately called themselves "leveraged buyout firms." When that term got a bad name in the early 1990s – remember RJR and *Barbarians at the Gate*? – these buyers hastily relabeled themselves "private-equity."

The name may have changed but that was all: Equity is dramatically *reduced* and debt is piled on in virtually all private-equity purchases. Indeed, the amount that a private-equity purchaser offers to the seller is in part determined by the buyer assessing the *maximum* amount of debt that can be placed on the acquired company.

Later, if things go well and equity begins to build, leveraged buy-out shops will often seek to re-leverage with new borrowings. They then typically use part of the proceeds to pay a huge dividend that drives equity sharply downward, sometimes even to a negative figure.

In truth, "equity" is a dirty word for many private-equity buyers; what they love is debt. And, because debt is currently so inexpensive, these buyers can frequently pay top dollar. Later, the business will be resold, often to another leveraged buyer. In effect, the business becomes a piece of merchandise.

Berkshire offers a third choice to the business owner who wishes to sell: a permanent home, in which the company's people and culture will be retained (though, occasionally, management changes will be needed). Beyond that, any business we acquire dramatically increases its financial strength and ability to grow. Its days of dealing with banks and Wall Street analysts are also forever ended.

Some sellers don't care about these matters. But, when sellers do, Berkshire does not have a lot of competition.

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Sometimes pundits propose that Berkshire spin-off certain of its businesses. These suggestions make no sense. Our companies are worth more as part of Berkshire than as separate entities. One reason is our ability to move funds between businesses or into new ventures instantly and without tax. In addition, certain costs duplicate themselves, in full or part, if operations are separated. Here's the most obvious example: Berkshire incurs nominal costs for its single board of directors; were our dozens of subsidiaries to be split off, the overall cost for directors would soar. So, too, would regulatory and administration expenditures.

Finally, there are sometimes important tax efficiencies for Subsidiary A because we own Subsidiary B. For example, certain tax credits that are available to our utilities are currently realizable only because we generate huge amounts of taxable income at other Berkshire operations. That gives Berkshire Hathaway Energy a major advantage over most public-utility companies in developing wind and solar projects.

Investment bankers, being paid as they are for action, constantly urge acquirers to pay 20% to 50% premiums over market price for publicly-held businesses. The bankers tell the buyer that the premium is justified for "control value" and for the wonderful things that are going to happen once the acquirer's CEO takes charge. (What acquisition-hungry manager will challenge *that* assertion?)

A few years later, bankers – bearing straight faces – again appear and just as earnestly urge spinning off the earlier acquisition in order to "unlock shareholder value." Spin-offs, of course, strip the owning company of its purported "control value" without any compensating payment. The bankers explain that the spun-off company will flourish because its management will be more entrepreneurial, having been freed from the smothering bureaucracy of the parent company. (So much for that talented CEO we met earlier.)

If the divesting company later wishes to reacquire the spun-off operation, it presumably would again be urged by its bankers to pay a hefty "control" premium for the privilege. (Mental "flexibility" of this sort by the banking fraternity has prompted the saying that fees too often lead to transactions rather than transactions leading to fees.)

It's possible, of course, that someday a spin-off or sale at Berkshire would be required by regulators. Berkshire carried out such a spin-off in 1979, when new regulations for bank holding companies forced us to divest a bank we owned in Rockford, Illinois.

Voluntary spin-offs, though, make no sense for us: We would lose control value, capital-allocation flexibility and, in some cases, important tax advantages. The CEOs who brilliantly run our subsidiaries now would have difficulty in being as effective if running a spun-off operation, given the operating and financial advantages derived from Berkshire's ownership. Moreover, the parent and the spun-off operations, once separated, would likely incur moderately greater costs than existed when they were combined.

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Before I depart the subject of spin-offs, let's look at a lesson to be learned from a conglomerate mentioned earlier: LTV. I'll summarize here, but those who enjoy a good financial story should read the piece about Jimmy Ling that ran in the October 1982 issue of *D Magazine*. Look it up on the Internet.

Through a lot of corporate razzle-dazzle, Ling had taken LTV from sales of only $36 million in 1965 to number 14 on the Fortune 500 list just two years later. Ling, it should be noted, had never displayed any managerial skills. But Charlie told me long ago to never underestimate the man who overestimates himself. And Ling had no peer in that respect.

Ling's strategy, which he labeled "project redeployment," was to buy a large company and then partially spin off its various divisions. In LTV's 1966 annual report, he explained the magic that would follow: "Most importantly, acquisitions must meet the test of the 2 plus 2 equals 5 (or 6) formula." The press, the public and Wall Street loved this sort of talk.

In 1967 Ling bought Wilson & Co., a huge meatpacker that also had interests in golf equipment and pharmaceuticals. Soon after, he split the parent into three businesses, Wilson & Co. (meatpacking), Wilson Sporting Goods and Wilson Pharmaceuticals, each of which was to be partially spun off. These companies quickly became known on Wall Street as Meatball, Golf Ball and Goof Ball.

Soon thereafter, it became clear that, like Icarus, Ling had flown too close to the sun. By the early 1970s, Ling's empire was melting, and he himself had been spun off from LTV . . . that is, *fired*.

Periodically, financial markets will become divorced from reality – you can count on that. More Jimmy Lings will appear. They will look and sound authoritative. The press will hang on their every word. Bankers will fight for their business. What they are saying will recently have "worked." Their early followers will be feeling very clever. Our suggestion: Whatever their line, never forget that 2+2 will always equal 4. And when someone tells you how old-fashioned that math is --- zip up your wallet, take a vacation and come back in a few years to buy stocks at cheap prices.

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Today Berkshire possesses (1) an unmatched collection of businesses, most of them now enjoying favorable economic prospects; (2) a cadre of outstanding managers who, with few exceptions, are unusually devoted to both the subsidiary they operate *and* to Berkshire; (3) an extraordinary diversity of earnings, premier financial strength and oceans of liquidity that we will maintain under *all* circumstances; (4) a first-choice ranking among many owners and managers who are contemplating sale of their businesses and (5) in a point related to the preceding item, a culture, distinctive in many ways from that of most large companies, that we have worked 50 years to develop and that is now rock-solid.

These strengths provide us a wonderful foundation on which to build.

The Next 50 Years at Berkshire

Now let's take a look at the road ahead. Bear in mind that if I had attempted 50 years ago to gauge what was coming, certain of my predictions would have been far off the mark. With that warning, I will tell you what I would say to my family today if they asked me about Berkshire's future.

- First and definitely foremost, I believe that the chance of permanent capital loss for patient Berkshire shareholders is as low as can be found among single-company investments. That's because our per-share *intrinsic business value* is almost certain to advance over time.

  This cheery prediction comes, however, with an important caution: If an investor's entry point into Berkshire stock is unusually high – at a price, say, approaching double book value, which Berkshire shares have occasionally reached – it may well be many years before the investor can realize a profit. In other words, a sound investment can morph into a rash speculation if it is bought at an elevated price. Berkshire is not exempt from this truth.

  Purchases of Berkshire that investors make at a price modestly above the level at which the company would repurchase its shares, however, should produce gains within a reasonable period of time. Berkshire's directors will only authorize repurchases at a price they believe to be *well below* intrinsic value. (In our view, that is an essential criterion for repurchases that is often ignored by other managements.)

  For those investors who plan to sell within a year or two after their purchase, I can offer *no* assurances, whatever the entry price. Movements of the general stock market during such abbreviated periods will likely be far more important in determining your results than the concomitant change in the intrinsic value of your Berkshire shares. As Ben Graham said many decades ago: "In the short-term the market is a voting machine; in the long-run it acts as a weighing machine." Occasionally, the voting decisions of investors – amateurs and professionals alike – border on lunacy.

  Since I know of no way to reliably predict market movements, I recommend that you purchase Berkshire shares *only* if you expect to hold them for at least five years. Those who seek short-term profits should look elsewhere.

  Another warning: Berkshire shares should not be purchased with borrowed money. There have been three times since 1965 when our stock has fallen about 50% from its high point. Someday, something close to this kind of drop will happen again, and no one knows when. Berkshire will almost certainly be a satisfactory holding for *investors*. But it could well be a disastrous choice for speculators employing leverage.

- I believe the chance of any event causing Berkshire to experience financial problems is essentially zero. We will always be prepared for the thousand-year flood; in fact, if it occurs we will be selling life jackets to the unprepared. Berkshire played an important role as a "first responder" during the 2008-2009 meltdown, and we have since more than doubled the strength of our balance sheet and our earnings potential. Your company is the Gibraltar of American business and will remain so.

  Financial staying power requires a company to maintain three strengths under *all* circumstances: (1) a large and reliable stream of earnings; (2) massive liquid assets and (3) *no* significant near-term cash requirements. Ignoring that last necessity is what usually leads companies to experience unexpected problems: Too often, CEOs of profitable companies feel they will always be able to refund maturing obligations, however large these are. In 2008-2009, many managements learned how perilous that mindset can be.

  Here's how we will *always* stand on the three essentials. First, our earnings stream is huge and comes from a vast array of businesses. Our shareholders now own many large companies that have durable competitive advantages, and we will acquire more of those in the future. Our diversification assures Berkshire's continued profitability, even if a catastrophe causes insurance losses that far exceed any previously experienced.

Next up is cash. At a healthy business, cash is sometimes thought of as something to be minimized – as an unproductive asset that acts as a drag on such markers as return on equity. Cash, though, is to a business as oxygen is to an individual: never thought about when it is present, the only thing in mind when it is absent.

American business provided a case study of that in 2008. In September of that year, many long-prosperous companies suddenly wondered whether their checks would bounce in the days ahead. Overnight, their financial oxygen disappeared.

At Berkshire, our "breathing" went uninterrupted. Indeed, in a three-week period spanning late September and early October, we supplied $15.6 *billion* of fresh money to American businesses.

We could do that because we always maintain at least $20 billion – and usually far more – in cash equivalents. And by that we mean U.S. Treasury bills, not other substitutes for cash that are claimed to deliver liquidity and actually do so, *except* when it is truly needed. When bills come due, only cash is legal tender. Don't leave home without it.

Finally – getting to our third point – we will never engage in operating or investment practices that can result in sudden demands for large sums. That means we will not expose Berkshire to short-term debt maturities of size nor enter into derivative contracts or other business arrangements that could require large collateral calls.

Some years ago, we became a party to certain derivative contracts that we believed were significantly mispriced and that had only minor collateral requirements. These have proved to be quite profitable. Recently, however, newly-written derivative contracts have required full collateralization. And that ended our interest in derivatives, regardless of what profit potential they might offer. We have not, for some years, written these contracts, except for a few needed for operational purposes at our utility businesses.

Moreover, we will not write insurance contracts that give policyholders the right to cash out at their option. Many *life* insurance products contain redemption features that make them susceptible to a "run" in times of extreme panic. Contracts of that sort, however, do not exist in the property-casualty world that we inhabit. If our premium volume should shrink, our float would decline – but only at a very slow pace.

The reason for our conservatism, which may impress some people as extreme, is that it is entirely predictable that people will occasionally panic, but not at all predictable when this will happen. Though practically all days are relatively uneventful, tomorrow is *always* uncertain. (I felt no special apprehension on December 6, 1941 or September 10, 2001.) And if you can't predict what tomorrow will bring, you must be prepared for whatever it does.

A CEO who is 64 and plans to retire at 65 may have his own special calculus in evaluating risks that have only a tiny chance of happening in a given year. He may, in fact, be "right" 99% of the time. Those odds, however, hold no appeal for us. We will never play financial Russian roulette with the funds you've entrusted to us, even if the metaphorical gun has 100 chambers and only one bullet. In our view, it is madness to risk losing what you *need* in pursuing what you simply *desire*.

- Despite our conservatism, I think we will be able *every* year to build the underlying per-share earning power of Berkshire. That does *not* mean operating earnings will increase each year – far from it. The U.S. economy will ebb and flow – though mostly flow – and, when it weakens, so will our current earnings. But we will continue to achieve organic gains, make bolt-on acquisitions and enter new fields. I believe, therefore, that Berkshire will annually add to its *underlying* earning power.

  In some years the gains will be substantial, and at other times they will be minor. Markets, competition, and chance will determine when opportunities come our way. Through it all, Berkshire will keep moving forward, powered by the array of solid businesses we now possess and the new companies we will purchase. In most years, moreover, our country's economy will provide a strong tailwind for business. We are blessed to have the United States as our home field.

- The bad news is that Berkshire's long-term gains – measured by percentages, not by dollars – cannot be dramatic and *will not come close* to those achieved in the past 50 years. The numbers have become too big. I think Berkshire will outperform the average American company, but our advantage, if any, won't be great.

  Eventually – probably between ten and twenty years from now – Berkshire's earnings and capital resources will reach a level that will not allow management to intelligently reinvest all of the company's earnings. At that time our directors will need to determine whether the best method to distribute the excess earnings is through dividends, share repurchases or both. If Berkshire shares are selling below intrinsic business value, massive repurchases will almost certainly be the best choice. You can be comfortable that your directors will make the right decision.

- No company will be more shareholder-minded than Berkshire. For more than 30 years, we have annually reaffirmed our Shareholder Principles (see page 117), always leading off with: "Although our form is corporate, our attitude is partnership." This covenant with you is etched in stone.

  We have an extraordinarily knowledgeable and business-oriented board of directors ready to carry out that promise of partnership. None took the job for the money: In an arrangement almost non-existent elsewhere, our directors are paid only token fees. They receive their rewards instead through ownership of Berkshire shares and the satisfaction that comes from being good stewards of an important enterprise.

  The shares that they and their families own – which, in many cases, are worth very substantial sums – were *purchased* in the market (rather than their materializing through options or grants). In addition, unlike almost all other sizable public companies, we carry no directors and officers liability insurance. At Berkshire, directors walk in your shoes.

  To further ensure continuation of our culture, I have suggested that my son, Howard, succeed me as a *non-executive* Chairman. My only reason for this wish is to make change easier if the wrong CEO should ever be employed and there occurs a need for the Chairman to move forcefully. I can assure you that this problem has a *very* low probability of arising at Berkshire – likely as low as at any public company. In my service on the boards of nineteen public companies, however, I've seen how hard it is to replace a mediocre CEO if that person is also Chairman. (The deed usually gets done, but almost always very late.)

  If elected, Howard will receive no pay and will spend no time at the job other than that required of all directors. He will simply be a safety valve to whom any director can go if he or she has concerns about the CEO and wishes to learn if other directors are expressing doubts as well. Should multiple directors be apprehensive, Howard's chairmanship will allow the matter to be promptly and properly addressed.

- Choosing the right CEO is all-important and is a subject that commands much time at Berkshire board meetings. Managing Berkshire is primarily a job of capital allocation, coupled with the selection and retention of outstanding managers to captain our operating subsidiaries. Obviously, the job also requires the replacement of a subsidiary's CEO when that is called for. These duties require Berkshire's CEO to be a rational, calm and decisive individual who has a broad understanding of business and good insights into human behavior. It's important as well that he knows his limits. (As Tom Watson, Sr. of IBM said, "I'm no genius, but I'm smart in spots and I stay around those spots.")

  Character is crucial: A Berkshire CEO must be "all in" for the company, not for himself. (I'm using male pronouns to avoid awkward wording, but gender should never decide who becomes CEO.) He can't help but earn money far in excess of any possible need for it. But it's important that neither ego nor avarice motivate him to reach for pay matching his most lavishly-compensated peers, even if his achievements far exceed theirs. A CEO's behavior has a huge impact on managers down the line: If it's clear to them that shareholders' interests are paramount to him, they will, with few exceptions, also embrace that way of thinking.

My successor will need one other particular strength: the ability to fight off the ABCs of business decay, which are arrogance, bureaucracy and complacency. When these corporate cancers metastasize, even the strongest of companies can falter. The examples available to prove the point are legion, but to maintain friendships I will exhume only cases from the distant past.

In their glory days, General Motors, IBM, Sears Roebuck and U.S. Steel sat atop huge industries. Their strengths seemed unassailable. But the destructive behavior I deplored above eventually led each of them to fall to depths that their CEOs and directors had not long before thought impossible. Their one-time financial strength and their historical earning power proved no defense.

Only a vigilant and determined CEO can ward off such debilitating forces as Berkshire grows ever larger. He must never forget Charlie's plea: "Tell me where I'm going to die, so I'll never go there." If our non-economic values were to be lost, much of Berkshire's economic value would collapse as well. "Tone at the top" will be key to maintaining Berkshire's special culture.

Fortunately, the structure our future CEOs will need to be successful is firmly in place. The extraordinary delegation of authority now existing at Berkshire is the ideal antidote to bureaucracy. In an operating sense, Berkshire is not a giant company but rather a collection of large companies. At headquarters, we have never had a committee nor have we ever required our subsidiaries to submit budgets (though many use them as an important internal tool). We don't have a legal office nor departments that other companies take for granted: human relations, public relations, investor relations, strategy, acquisitions, you name it.

We do, of course, have an active audit function; no sense being a damned fool. To an unusual degree, however, we trust our managers to run their operations with a keen sense of stewardship. After all, they were doing exactly that before we acquired their businesses. With only occasional exceptions, furthermore, our trust produces better results than would be achieved by streams of directives, endless reviews and layers of bureaucracy. Charlie and I try to interact with our managers in a manner consistent with what we would wish for, if the positions were reversed.

- Our directors believe that our future CEOs should come from internal candidates whom the Berkshire board has grown to know well. Our directors also believe that an incoming CEO should be relatively young, so that he or she can have a long run in the job. Berkshire will operate best if its CEOs average well over ten years at the helm. (It's hard to teach a new dog old tricks.) And they are not likely to retire at 65 either (or have you noticed?).

  In both Berkshire's business acquisitions and large, tailored investment moves, it is important that our counterparties be both familiar with and feel comfortable with Berkshire's CEO. Developing confidence of that sort and cementing relationships takes time. The payoff, though, can be huge.

  Both the board and I believe we now have the right person to succeed me as CEO – a successor ready to assume the job the day after I die or step down. In certain important respects, this person will do a better job than I am doing.

- Investments will always be of great importance to Berkshire and will be handled by several specialists. They will report to the CEO because their investment decisions, in a broad way, will need to be coordinated with Berkshire's operating and acquisition programs. Overall, though, our investment managers will enjoy great autonomy. In this area, too, we are in fine shape for decades to come. Todd Combs and Ted Weschler, each of whom has spent several years on Berkshire's investment team, are first-rate in all respects and can be of particular help to the CEO in evaluating acquisitions.

  All told, Berkshire is ideally positioned for life after Charlie and I leave the scene. We have the right people in place – the right directors, managers and prospective successors to those managers. Our culture, furthermore, is embedded throughout their ranks. Our system is also regenerative. To a large degree, both good and bad cultures self-select to perpetuate themselves. For very good reasons, business owners and operating managers with values similar to ours will continue to be attracted to Berkshire as a one-of-a-kind and *permanent* home.

- I would be remiss if I didn't salute another key constituency that makes Berkshire special: our shareholders. Berkshire truly has an owner base unlike that of any other giant corporation. That fact was demonstrated in spades at last year's annual meeting, where the shareholders were offered a proxy resolution:

  > RESOLVED: Whereas the corporation has more money than it needs and since the owners unlike Warren are not multi billionaires, the board shall consider paying a meaningful annual dividend on the shares.

  The sponsoring shareholder of that resolution never showed up at the meeting, so his motion was not officially proposed. Nevertheless, the proxy votes had been tallied, and they were enlightening.

  Not surprisingly, the A shares – owned by relatively few shareholders, each with a large economic interest – voted "no" on the dividend question by a margin of 89 to 1.

  The remarkable vote was that of our B shareholders. They number in the hundreds of thousands – perhaps even totaling one million – and they voted 660,759,855 "no" and 13,927,026 "yes," a ratio of about 47 to 1.

  Our directors recommended a "no" vote but the company did not otherwise attempt to influence shareholders. Nevertheless, 98% of the shares voting said, in effect, "Don't send us a dividend but instead reinvest all of the earnings." To have our fellow owners – large and small – be so in sync with our managerial philosophy is both remarkable and rewarding.

  I am a lucky fellow to have you as partners.

  Warren E. Buffett